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CASES AND MATERIALS

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PART I

CHAPTER **1**

The nature of contract

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Bargaining, Duress, and Economic Liberty

[1.05] RL Hale, "Bargaining, Duress, and Economic Liberty" (1943) 43 *Columbia Law Review* 603.

That men may live, they must either be in a position each to produce the material necessities of life for his own use, or there must be some adequate incentive for production of the goods and services which people other than the producers may enjoy, and some means by which individual consumers can acquire some portion of them. In thinly settled lands it may be possible for each family to produce most of the things needed to satisfy its own wants. The law has only to recognize each family's property right in its farm and its products, and protect that property from interference. But in a land as thickly settled as ours, such individualistic methods of providing for wants would be wholly inadequate. We have to resort to the more efficient process of machine production, with its widespread division of labor. Almost every article or service that is produced is the fruit of the combined efforts of countless people, each working on a fractional part of the product. But the product is consumed only in small part, if at all, by its producers. Other people consume it, and the producers of this product consume the products of other people's labor. Goods are turned out collectively and consumed individually. Individuals could conceivably be conscripted to contribute their respective efforts to the collective process of production, and the products could be rationed out to each for his individual consumption. These are not the methods of our free economy. We rely instead, for the most part, on bargaining.

There are few, if any, who own enough of the collective output of goods ready for consumption to satisfy their needs for more than a brief period in the future. Some persons own more than enough of certain [604] types of goods, but they must perforce acquire the use of other types as well. The owner of a shoe factory is in no danger of going ill-shod – he may wear his own shoes. But he cannot live on shoes alone. Like everyone else, he must buy food or starve. Even the producer and owner of food must as a rule buy other forms of food than those in which he has specialized. Any person, in order to live, must induce some of the owners of things which he needs, to permit him to use them. The owner has no legal obligation to grant the permission. But if offered enough money he will probably do so; for he, too, must obtain the permission of other owners to make use of *their* goods, and for this purpose he too needs money – more than he has at the outset. He needs it more than he needs his surplus of shoes. Indeed he values his right of ownership in the shoes solely for the power it gives him to obtain money with which to buy other things which he does not yet own.

The owner of the shoes or the food or any other product can insist on other people keeping their hands off his products. Should he so insist, the government will back him up with force. The owner of the money can likewise insist on other people keeping their hands off his money, and the government will likewise back *him* up with force. By *threatening* to maintain the legal barrier against the use of his shoes, their owner may be able to obtain a certain amount of money as the price of not carrying out his threat. And by threatening to maintain the legal barrier against the use of his money, the purchaser may be able to obtain a certain amount of shoes as the price of not withholding the money. A bargain is finally struck, each party consenting to its terms in order to avert the consequences with which the other threatens him.

This does not mean, of course, that in each purchase of a commodity, there is unfriendliness, or deliberation and haggling over terms. Market conditions may have standardized prices, so that

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each party knows that any haggling would be futile. Nevertheless the transaction is based on the bargaining power of the two parties. The seller would not part with the shoes, or produce them in the first place, if the law enabled him to get the buyer's money without doing so, nor would the buyer part with his money if the law enabled him to obtain the shoes without payment.

Of course the process of getting some part of the collective product of the community into the consumer's hands is more complex than our illustration indicates. There are usually intermediaries between the factory and the consumer – jobbers, wholesalers and retailers. But the illustration reveals the essentials of the process. It does not explain, however, how the shoes came into the ownership of the factory owner, or how, indeed, they came to be produced at all. Nor does it explain [605] how the money came into the possession of the purchaser. It merely makes clear that, without money, an individual has little chance of gaining access to any part of the goods produced. The law bars such access without the consent of some of those to whom it assigns the ownership of those goods.

How, then, does any purchaser obtain the money that will enable him to consume? We have already seen that the owner of products obtains it, by selling his products to buyers. But how did he come to be the owner of the products? The answer which first suggests itself is that he produced them. To the extent that this is true, it indicates that he made his contribution to the productive process, not by first making a bargain with consumers, but because he anticipated that his efforts would put him in a favorable position to make future bargains But the answer is not wholly true. The owner did not produce the shoes by his own efforts alone. Other people have taken part in the production too – not only his employees, but those who have advanced the necessary capital, or taken any part in the production of the raw materials and fuel which he uses, or in transporting them to his factory.

Yet of all these innumerable producers of the shoes, only the owner of the factory acquires title to them. The others have all, at one time or another, waived their claims to any share in the ownership of the shoes. They have done so in a series of bargaining transactions, in which they received money, or promises to pay money. Through this series of bargains, the owner of the plant has acquired the full right of ownership in the shoes. This right enables him, if he is successful, to obtain from his customers more than enough to repay all the outlays he has made to the other participants – enough more to compensate him for his risk and labor in organizing and managing the plant, and perhaps even more than this.

As a result of these innumerable bargains, the owner and the other participants in the production obtain their respective money income and these money incomes determine the share that each may obtain of the total goods and services turned out by the collective efforts of all the other members of society. And it is as a result of these bargains, or in anticipation of them, that each participant in these collective productive efforts makes his contribution. We rely on the bargaining process to serve the conflicting interests of individuals in securing a share of the collective output of society, and also to serve their common interest in the creation of that collective output.

Though these bargains lead to vast differences in the economic positions of different persons, whether as producers or as consumer these differences have all resulted from transactions into which each has [606] entered without any explicit requirement of law that he do so. But while there is no explicit legal requirement that one enter into any particular transaction, one's freedom to decline to do so is nevertheless circumscribed. One chooses to enter into any given transaction in order to avoid the threat of something worse – threats which impinge with unequal weight on different members of society. The fact that he exercised a choice does not indicate lack of compulsion. Even a slave makes a choice. The compulsion which drives him to work operates through his own will power. He makes the "voluntary" muscular movements which the work calls for, in order to escape some threat; and though he exercises will power and makes a choice, still, since he is making it under threat, his servitude is called "involuntary". And one who obeys some compulsory requirement of the law in order to avoid a penalty is likewise making a choice. If he has the physical power to disobey, his obedience is not a matter of physical necessity, but of choice. Yet no one would deny that the requirement of the law is a compulsory one. It restricts his liberty to act out of conformity to it.

Bargaining, Duress, and Economic Liberty cont.

Government has power to compel one to choose obedience, since it can threaten disobedience with death, imprisonment, or seizure of property. Private individuals are not permitted to make such threats to other individuals, save in exceptional circumstances such as self-defense. But there are other threats which may lawfully be made to induce a party to enter into a transaction. In the complex bargains made in the course of production, some parties who deal with the manufacturer surrender a portion of their property, others their liberty not to work for him, in order to avert his threat to withhold his money, while he, in turn, surrenders some part of the money he now owns, or some part of his right to keep from them money he may obtain in the future, to avert their threats of withholding from him their raw materials or their labor. And he may have surrendered property in the past, and the freedom to abstain from labor, in order to attain his position as owner of the plant and its products, and so to obtain the money with which to avert the threats of owners of the things he wishes to consume, to withhold those things from him. In consenting to enter into any bargain, each party yields to the threats of the other. In the absence of corrective legislation, each party, in order to induce the other to enter into a transaction, may generally threaten to exercise any of his legal rights and privileges, no matter how disadvantageous that exercise may be to the other party.

[1.10] **Notes**

See further RL Hale, "Coercion and Distribution in a Supposedly Non-coercive State" (1923) 38 *Political Science Quarterly* 470. The significance of Hale's work is discussed by MJ Horwitz, *The Transformation of American Law 1870-1960* (OUP, New York, 1992), pp 195–8.

The Significance of Contract Theory

[1.15] JM Feinman, "The Significance of Contract Theory" (1990) 58 *University of Cincinnati Law Review* 1283.

[1285] This article begins by describing mainstream contract theory, which is known as neoclassical contract. Then it examines each of the principal competitors to neoclassical contract: death of contract theory, metatheory, relational contract, empirical contract theory, and critical legal studies. The article explains the core assertions of each theory and explains why each theory presents a fundamental challenge to neoclassical contract. It concludes by briefly considering the contract theories as expressions of political and professional ideology.

Theory is important. Theory, including legal theory, frames the way we look at problems, the facts and values we think relevant to their solution, and even what we consider to be problems at all. More is at stake in this debate than getting straight the views of some academic scholars; the meaning and content of contract law are at stake as well.

I. Neoclassical contract law

[1.20] Modern contract law is often usefully referred to as neoclassical contract law. This term aptly situates today's contract law in its historical context. The essential quality of neoclassical contract is that it is the product of the attempt to accommodate classical contract law and subsequent critiques of it. The word "neoclassical" suggests the partial nature of the accommodation, indicating that neoclassical contract has not so far departed from classical law that a wholly new name is appropriate.

Classical contract is the body of law usually associated with the age of Holmes, Williston, and the original *Restatement of Contracts*. [1286] Classical law in general was structured by a series of

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dichotomies which defined the relationships among legal actors … The most fundamental dichotomy was between the individual and the community. Therefore, relations among individuals were governed by private law, which was distinct from public law, which regulated relations between individuals and the state. Within private law, contract law embodied the dichotomy between individual and community by imagining a realm of private agreement in which individual freedom was protected from state coercion. The image that motivated this realm was the isolated bargain between independent, self-interested individuals. Steely-eyed bargainers carefully calculated their interests in a particular exchange, gave a promise or performance only in return for something else, and embodied their transaction in an agreement that carefully defined the terms of performance and therefore could provide the basis for a determinate remedy in case of breach.

Accordingly, as conceived by classical contract law, liability was always *voluntarily assumed* by the individual through his making of a promise or an agreement, unlike in tort law, in which liability was *imposed* by the legal system without regard for the individual's consent. Contract doctrines such as narrow formation rules and bargain consideration followed logically from these principles and assured that the individual actually had consented to a bargained-for exchange. When courts mechanically applied these abstract, formal doctrines, they protected the individual's right to assume contractual [1287] obligation or to avoid it at the same time as they provided a predictable basis for commercial transactions.

The problems of classical contract law quickly became apparent to judicial and scholarly commentators. Contractual liability, like all other legal liability, did not arise solely from the individual's choice but came from the court's *imposition* of legal obligation as a matter of public policy; a contract was binding because the court determined that imposing liability served social interests, not because the individual had voluntarily assumed liability through his manifestation of assent. Nor could the parties' words in creating the contract exclusively define the scope of liability; courts had to interpret, fill gaps, and even impose pre-contractual and quasi-contractual liability, either to make the parties' contract meaningful in its commercial context or to serve social interests other than individual choice, such as fairness. Because of the inherent limits of language and the infinite variability of facts, courts could not state doctrinal rules in such a way that they could be mechanically applied to all fact situations that might arise; moreover, the changing needs of commerce made it undesirable to attempt to do so …

As with classical law, *neoclassical law* can be evoked by presenting the image of its prototypical case as well as by describing its substance, method, and social role. The prototype of neoclassical contract posits parties in an economic relationship that is neither entirely isolated nor wholly encompassing. The parties seek individual advantage through the transaction, but their individual advantage is tied to the success of their mutual venture. The relationship arises through voluntary bargaining which defines the basic terms of the agreement, but the terms can only be understood by examining the context within which the agreement is reached, so that context sometimes supplies interpretations and additional terms.

Proceeding from this image, as a matter of substantive principle neoclassical contract law attempts to balance the *individualist* ideals [1288] of classical contract with *communal* standards of responsibility to others. The core remains the principle of freedom of contract, distinguishing contract from tort and other areas, but this principle is "tempered both within and without [contract's] formal structure by principles, such as reliance and unjust enrichment, that focus on fairness and the interdependence of parties rather than on parties' actual agreements." (Hillman, "The Crisis in Modern Contract Theory" (1988) 67 *Texas Law Review* 103 at 104). In deciding the scope of contractual liability, courts weigh the classical values of liberty, privacy, and efficiency against the values of trust, fairness, and cooperation, which have been identified as important by post-classical scholars … In contrast to classical law … neoclassical law tempers rigid logic by the use of policy analysis, empirical inquiry, and practical reason. Contract doctrine, more often formulated as general standards rather than mechanical rules, guides judges, sometimes quite strongly, but it allows them enough discretion in hard cases to reach just, socially desirable results.

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Through this flexible body of principles and methods for their application, neoclassical contract serves the important social goal of supporting and regulating economic transactions. It does this in two general ways. *First*, it provides a framework for parties who engage in business planning. The framework helps them to create legal relations, to determine their content, to avoid them altogether, and to sort out difficulties when planning goes awry. *Second*, it provides a background set of norms for fair market relations. Even without the direct threat of enforcement, these norms are used by business people to set standards and limits for their conduct …

II. Death of contract theory

[1.25] [1289] The first challenge to neoclassical contract law to achieve wide attention was Grant Gilmore's pronouncement of the death of contract, first made in lectures in 1970 and published in 1974 … [T]he book created a storm of controversy, and the event set the stage for many of the critiques of contract that were to follow.

In *The Death of Contract*, Gilmore presented his own account of the rise and fall of classical contract law. Classical contract was the first general model of contract law, and it was heroically constructed out [1290] of little-known English cases to accord with the individualist ideology of the classical age. Langdell originated the model in his casebook and accompanying summary, Holmes provided philosophical support in *The Common Law*, and Williston filled out the doctrine in his treatise and in the Restatement of Contracts. "The theory seems to have been dedicated to the proposition that, ideally, no one should be liable to anyone for anything. Since the ideal was not attainable, the compromise solution was to restrict liability within the narrowest possible limits. Within those limits, however, liability was to be absolute." (Gilmore, 14)

Liability was limited in many ways. Strict formation rules required that the parties, not the court, dot the i's and cross the t's in the contract before it was binding. The formation rules exclusively defined contract liability; a person relied on another person's pre-contractual representations or conferred benefits on another without a contract at his own risk. The basic contract remedy was expectation damages, which were theoretically but often not practically fully compensatory; specific performance was seldom awarded, and punitive damages were out of the question because they belonged to the realm of tort law.

But the most powerful limitation on liability was the doctrine of bargained-for consideration, "newly-reformulated and put to some hitherto unsuspected uses." (Gilmore, 18) "Absent "consideration", the unhappy promisee has no right or claim. And nothing is "consideration" unless the parties have dealt with it on that footing." (Gilmore, 20) This narrow doctrine of consideration, once it was defined as the essence of classical contract law, was extended to a whole range of problems, such as the validity of offers stated to be open for a certain time and modification of existing contracts. In each case, the effect of the doctrine was to limit liability severely.

Classical contract was so extreme, however, that it could not long survive outside the rarefied air of law school classrooms. It suffered from the general defects of classical law. In particular, scholars such as Corbin demonstrated that it was inconsistent with much case law. Courts had, for example, often imposed contractual liability in situations in which there was not bargained-for exchange as required [1291] by the classical doctrine of consideration. Further, classical contract's individualist premises were undermined by the growing awareness of the validity of *state intervention* in the economy. After a schizophrenic period, which Gilmore illustrated by the clash of section 75 (on bargain consideration) and section 90 (on reliance) in the Restatement, judges avoided or manipulated the classical model and scholars ultimately rejected it. Since then, the boundaries of contract have been collapsing, allowing incursions by unjust enrichment in cases of *benefit-based* liability, by doctrines such as promissory estoppel in cases of *reliance-based* liability, and by *tort* law in areas such as products liability and third-party rights. As a result, contract law is being reabsorbed into tort law, which was before and now becomes again the residual category of civil liability.

The *Death of Contract* is good literature, bad history, and questionable theory … Mainstream contract scholars have revised Gilmore's death of contract thesis and assimilated the revision into

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neoclassical law. Gilmore's error, in this formulation, was to associate contract law too narrowly with the bargain model of contract. Classical contract may have been defective in emphasizing too strongly bargained-for exchanges, but modern contract law has substantially corrected the defect. All of the doctrines that Gilmore saw as undermining contract law have been drawn into it. Courts now provide remedies for pre-contractual reliance, fill gaps in parties' agreements, apply remedies flexibly, and so on. Bargain is no longer the exclusive principle in contract, but it is a substantial one that comfortably co-exists with newer elements such as *reliance*.

This interpretation misconceives the essence of Gilmore's argument. The death of contract thesis challenges the integrity of neoclassical contract law as an independent area of law and mode of [1292] inquiry; consequently, it undermines the substance and method of neoclassical contract law.

Neoclassical law retains a core assumption of classical contract law: that private agreement provides a *distinctive* area of legal and social process. This assumption defines the existence, independence, and scope of contract law. Contract law is distinct from tort law because the principles underlying promissory obligation are different than the principles underlying non-promissory obligation, and because exchange relationships are different than relationships that arise through accident or that do not have significant economic characteristics. Because distinctive factual, logical, and policy considerations underlie the definition of contract law, the rules about enforcement of contracts and remedies for breach are different than the liability rules and remedies applicable to situations not arising out of private agreement, such as to physical injuries addressed by tort law. The same considerations dictate the absence of liability in those cases falling within contract's traditional purview (situations of agreement and exchange) where the requirements of contract law have not been met.

The death of contract thesis challenges the distinctiveness of contract law. Its essential message is that contract is not really a special area in society or law, so the traditional justifications for contract doctrine are inadequate. Gilmore, restating the Realists' argument, asserted that contract is functionally identical to other areas of law. Contract law is simply another area in which the state exercises power by attaching positive and negative sanctions to forms of individual behavior; it is immaterial whether the behavior regulated is violating the standard of care for driving a car or for performing a promise.

Gilmore suggests two kinds of evidence, in law and in society, for contract's lack of distinctiveness. First, many doctrines have developed that have eroded the significance of bargain contract as a basis for liability. *Promissory estoppel* and *unjust enrichment* are two examples that have already been mentioned. Their influence has widened in recent years, so that traditional contract constructs such as the *Statute of Frauds* have become less important. Products liability [1293] has made much of contract warranty law obsolete. Most dramatically, the development of a general standard for civil obligation in a series of California cases has reduced the influence of contract law in a wide range of circumstances. Second, the prevailing social perception is that "[w]e are now all cogs in a machine, each dependent on the other" (Gilmore, at 95). In the transition from "nineteenth century individualism to the welfare state and beyond" (at 96), private agreement no longer seems to be a uniquely important form of social interaction. The second kind of evidence makes clear the significance of the first. What is most significant in the rise of non-bargain doctrines is not the number of cases that are now treated under the new rules, but the conceptual identity of all "contract" cases as resting on the *imposition* of liability for reasons of policy in an interdependent society.

A hypothetical illustrates the fusion of contract and tort and thereby the different ways of interpreting Gilmore's message. (This and subsequent examples are drawn from Hillman, above.) A television network (XYZ), in negotiations with a production company (MDM) concerning a spinoff series, encourages the company to begin producing the series prior to the conclusion of a formal agreement. The production company produces three episodes at a cost of three million dollars, but negotiations break down and no agreement is ever executed.

Under classical contract law, the network would not be liable to the production company because there was no express bargain supported by consideration. Under modern contract law, the network might be liable under promissory estoppel. This would be an application of the mainstream

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reformulation of the death of contract thesis; contract has correctly and successfully expanded to include reliance liability as an alternative to bargain. However, a death of contract theorist would point out that XYZ's liability in this case is not essentially contractual. MDM's loss is determined to be compensable because of the reasonableness of the relative conduct of both parties and the public policies that would be served by protecting MDM's reliance; for example, MDM has acted reasonably in beginning production, but XYZ has acted negligently in encouraging it [1294] to do so before an agreement has been consummated, and we wish to protect parties like MDM and discourage others from acting like XYZ. That the loss occurs in a setting which has characteristics which have traditionally caused contract law to be invoked is not decisive.

Assume instead that during the negotiations the network had expressly reserved the right not to contract with the production company, but MDM produced the episodes anyway. In that case, modern contract law would say that the bargain theory protects the network from liability, and reliance cannot intrude. XYZ's choice was shown by the express lack of consent, and it ought to be protected because it manifested a desire to avoid contract. MDM's reliance in the face of that manifestation is unreasonable, because express lack of bargain trumps unreasonable reliance.

From the death of contract perspective, however, that answer shows the inadequacy and arbitrariness of modern contract. The first hypothetical demonstrated that consent is only one of many concerns that are relevant to the determination of "contractual" liability. Also important are a very long list of other factors, that can be summarized doctrinally in a test such as the California six-part test for general civil liability alluded to above or that are often simply referred to as "public policy". The death of contract thesis asserts, therefore, that this hypothetical is no more exclusively a contract question than is the initial hypothetical. Whether MDM's reliance ought to be protected is determined on precisely the same basis as is any other question of law, including tort law.

Death of contract theory, then, denies the *integrity* of contract law. It suggests that scholars who would otherwise be concerned with contract law and theory should look outward to other fields of law and to other methods of inquiry. Doing so may produce a general theory of civil obligation or a new theory of contract. As it has happened, there has been movement in *both* of those directions, through metatheories and relational contract, covered in the next two sections.

III. Metatheory

[1.30] Taken to its extreme, the death of contract view that contract is not materially different in substance or method from other areas of [1295] legal inquiry could lead one to develop an approach that encompasses all legal events, deciding all cases or at least a large portion of them without regard for factual variations or traditional classifications. This kind of approach has been attempted by several groups of scholars, notably those that advocate *economic analysis* of law and *rights or entitlements* theories. I call this kind of an approach "metatheory", because it transcends the usual structures of legal analysis …

[1296] … A metatheory rejects contract's anti-theoretical posture by asserting that a systematic approach can determine the content of contract law. A systematic approach includes a limited set of fundamental principles and a defined method of applying them. Neither the principles nor the method are unique to contract law. Instead, the principles are common to the whole range of legal categories, and the method of their application does not vary from one category to another. The use of such a systematic approach means that the analysis operates only on a single dimension, thereby rejecting the multi-dimensional nature of neoclassical law …

Economic analysis of law begins with the hypothesis that people seek to maximize their welfare. It is implicit in this hypothesis that people respond to incentives, altering their behavior to increase their welfare. When people are allowed to shape their behavior to maximize their welfare, especially through voluntary exchanges with others, resources gravitate to their most valuable uses, increasing what is known as *allocative efficiency*. Allocative efficiency provides the economic criterion for evaluating legal doctrines and decisions. These core ideas have been developed and supplemented in a large, diverse

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body of literature on contract law and other subjects. The standard work on law and economics is R Posner *Economic Analysis of Law*.

If once the law and economics movement could have been accused of dogged but narrow application of a single idea, the charge cannot be made now. For example, law and economics scholars have addressed the peculiar problems of relational contracting and [1297] problems of transaction costs and lack of information that complicate economic analysis of contract issues. Nevertheless, all strains of the movement illustrate the turn to metatheory. Law and economics seems peculiarly well suited to examination of contract law because of its emphasis on voluntary exchange. However, proponents assert that economic thinking applies across the whole range of human behavior, and therefore across the whole range of law. In contract, as elsewhere, basic economic analysis can be applied to determine efficiency largely to the exclusion of other forms of analysis.

Rights or entitlement theories apply an equally rigorous, focused method, although their concern is with the morality of legal rules rather than with the rules' consequences. An entitlement theory begins with a moral principle about the individual's place among his fellows. Through philosophical reason, the principle is used to define the legal entitlements that a person should have, including how entitlements may be acquired, used, transferred, and protected: see C Fried, *Contract as Promise* (1981); Barnett "A Consent Theory of Contract" (1986) 86 *Columbia Law Review* 269 …

Suppose a television production company wishes to discharge a minor actress on its series to substitute a more popular one, figuring that it can pay the minor actress for her monetary loss and still profit from the presence of the substitute. Rights theorists would consider whether the minor actress's contract created an *entitlement* that may not be infringed, while law and economics scholars would consider whether the breach is *efficient*. Using either approach, the analysis could be quite complex, but it is focused by the demands of the theory in a way that everyday legal method is not.

[1298] The virtue of a metatheory is also its vice. From the neoclassical perspective, the attempt to recognize the commonalities among contractual and noncontractual situations may be valid and the attempt to make contract theory more rigorous may be useful, but the attempt to subject all situations to a limited theory is neither. "Attempts to reduce contract to a simple abstraction leave too much unexplained or distort too much to fit the theory." (Hillman, above, 122–3) …

The methodological premises of neoclassical law (anti-theoretical and multi-dimensional) and of metatheories (strongly theoretical and unidimensional) are fundamentally opposed to each other. Accordingly, metatheories necessarily provide a direct challenge to neoclassical law.

The difficulty of absorbing metatheoretical insights can be seen in neoclassical law's attempt to incorporate the economic concept of *efficient breach*. The theory of efficient breach asserts that a party ought to be encouraged to breach a contract where its gains from an alternative opportunity exceed the other party's losses from the breacher's non-performance. Neoclassical law has accepted this concept as a principle of contract remedies. However, it is important to define the way in which this concept has become part of the law. Neoclassical scholars have adopted this principle on the same basis that they make other legal judgments, by using the anti-theoretical, multi-dimensional neoclassical method, not through adoption of the metatheory in which the concept originated. The embrace of efficient breach is understandable; the concept seems to be a contemporary analogue to Holmes's notion that the only consequence of a breach is the duty to pay damages, and it nicely fits with the desire to define remedies that protect the expectation interest. [1299] Alternatively, if efficient breach had been adopted on the basis of efficiency, then how could arguments about efficiency have been resisted elsewhere in the law? To the extent that values other than efficiency or modes of analysis other than economic analysis are used, the metatheory has been rejected.

IV. Relational contract theory

[1.35] Relational contract theory, largely developed by Ian Macneil, is widely misunderstood and, as misunderstood, is usually shrugged off by mainstream scholars. Part of the misunderstanding may arise from Macneil's style of presentation, which usually does not observe the style of traditional legal

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scholarship; the greater share of the misunderstanding is due to the fundamental opposition between the goals and methods of relational contract theory and those of neoclassical scholarship. See Macneil, *The New Social Contract* (1980), "Contracts: Adjustment of Long Term Economic Relations Under Classical, Neoclassical and Relational Contract Law" (1978) 72 *Northwestern University Law Review* 854, "Values in Contract Law: Internal and External" (1983) 78 *Northwestern University Law Review* 340; the most concise statement of the theory is in "Relational Contract Theory as Sociology" (1987) 143 *Journal of Institutional and Theoretical Economics* 272, 274–6.

In the mainstream view, the core assertions of relational contract theory are that the dominant form of contract, relational contract, [1300] "occurs over time through continuous interactions between parties", so that "one must investigate the social conditions that form the foundation of parties' bargains in order to comprehend the relational norms and hence to understand contract." (Hillman, above at 124). Classical contract, with its focus on a *distinct moment* of contract formation, could not accommodate these concerns. However, mainstream scholars assert that, contrary to the opinion of relational extremists, modern contract law recognizes the existence of relational contracts, though not their dominance, and is well equipped to investigate the social contexts of such agreements to determine their legal effect. For example, where an actress in a TV series suddenly becomes very popular, whether her employer is required to renegotiate her contract depends on the parties' intentions, which can be determined accurately through neoclassical methods and doctrines by examining course of dealing, usage of trade, and the meaning of good faith in the context. Thus neoclassical contract already embodies the important parts of relational contract; the rest consists of unnecessary flights of theoretical fancy …

However, the mainstream view of relational contract is simplistic and partial. Relational contract theory begins with some very basic observations and insights about people's interaction in organized society. Any society in which specialization of labor exists will include exchange, and exchange always occurs in a relational context. In any society, even the most capitalistic, individualistic one, the production and distribution of goods and services is carried on through a variety of exchange mechanisms, of which discrete, self-maximizing [1301] exchange on a market (the paradigm of neoclassical contract) will be a very small part. More commonly, exchange occurs within relations that involve more elements and are of longer duration than does an isolated, discrete exchange. Moreover, even the most discrete contract is an event that is always situated within a framework of non-discrete relations which must be examined to understand the discrete contract. Accordingly, as an initial empirical and conceptual matter, thinking about contract ought to begin with *relational exchange*, not *discrete* contract. Recognizing, as neoclassical contract does, that some contracts are more extensive than discrete bargains is not enough; relational contract theory stresses that *all* contracts are relational to some extent, and truly relational contracts predominate.

The second step in relational contract theory is to examine in more detail the behavior exhibited by parties along the spectrum of discrete and relational exchange. All exchanges require certain kinds of behavior, such as a common means of communication between the parties, a minimum amount of solidarity, and some reciprocity.

Some exchanges are relatively discrete, involving short duration, limited party interactions, and precise measurement of the value of the objects exchanged. A common example is the purchase of gasoline by a traveller along a major highway in an area in which she has never been before and is not likely to be again. Notice, however, that the relational characteristics are important even in this discrete transaction: a common means of communication between the driver and the gas attendant, the use of a credit card, customs about pumping gas before requiring payment, etc.

Other exchanges are more relational, involving significant duration, many facets of the parties' lives, and the exchange of values that cannot easily be quantified. The employment relationship of a law school professor illustrates. The distinction between discrete and relational exchanges is perhaps the most important way of categorizing exchanges.

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The different types of exchange behavior observed give rise to *norms*, "a case of an "is" creating an "ought."" The norms parallel the categories of behavior that have been conceptualized; some norms are common to all exchanges, while others are associated more strongly with discrete and relational exchanges, respectively. [1302] Solidarity and reciprocity, for example, are norms that are common to all contracts. In discrete contracts the norms of implementation of planning and effectuation of consent are intensified by the distinctive elements of discrete exchanges. On the other hand, in relational contracts other common contract norms, such as maintaining the integrity of one's role within the relation and harmonizing the relation with the surrounding social matrix, are more important because of the more extensive characteristics of relational exchanges.

In Macneil's view, these immanent norms can be developed and applied to constitute "more precise, intellectually coherent principles which are nevertheless sufficiently open-textured for effective use in the law of modern contractual relations." When used to analyze a particular situation, this conceptual framework certainly emphasizes different elements more than does neoclassical law, and arguably provides a richer analysis. In addition, the framework brings to light certain features of many exchanges that neoclassical law undervalues or ignores because of its emphasis on relatively discrete, value-maximizing agreements. Values other than wealth maximization figure importantly in exchanges, even discrete contracts and market exchanges because the non-economic, non-market aspects of relations pervade market transactions. Sometimes relations are not mutually favorable to all parties because they arise out of social situations of inequality, so the values may include elements of coercion and dependence, contrary to the neoclassical assumption of rough equality. In other situations, values such as trust, cooperation, reciprocity, and role integrity are essential to the relationship.

Relational contract theory goes one step further and considers the difference between *examining* the norms of a relation and *imposing* norms through legal intervention. Even where the legal system articulates and applies the same norm as is internally generated in the relation, imposing the norm on the relation from the outside transforms the norm and has different practical consequences than [1303] would internal generation of it. Imposing a norm of proper dealing between workers and managers through the *National Labor Relations Act* results in a much different situation than would arise through the spontaneous development of the same norm within a firm. As before, important differences arise in the imposition of discrete and relational norms. Thus, neoclassical contract's assumptions about the effects of contract law on people's behavior are inadequately developed.

Relational contract presents a fundamental challenge to the assumptions, method, and content of neoclassical law. It does not simply provide modest insights about non-discrete exchanges and the importance of context that can be absorbed by neoclassical contract. A brief relational discussion of the hypothetical about the obligation to renegotiate the popular TV actress's contract illustrates the difference.

The *neoclassical* treatment of the hypothetical focuses on the discrete agreement between the actress and her employer and uses limited relational context to ascertain the parties' actual or constructive intentions as to the right to renegotiate. In the *relational* view, this is a fundamental error. The parties' actual intentions are only one element of the setting, and framing the issue as one concerning their supposed intentions leads down the wrong path. Relational contract would begin by associating the situation more closely with either a discrete or relational prototype; in this case, probably the latter. That association suggests the norms that figure into the controversy most strongly. Although it is very difficult to discuss relational contracts in the bare hypothetical style of neoclassical contract, the norms of *flexibility* and *contractual solidarity* probably would be very important here. Returning to the factual setting, broadly construed, the court would consider how those norms are manifest in the parties' action, the community's actions and understanding, the broader society's values, and the legal system's principles. That inquiry suggests the choices to be made: not what would the parties have done, but what kind of relationship is most desirable in this setting. What the parties would have done is but one element that goes into that assessment. Finally, the effect of legal intervention in support of these norms must be considered. This may be particularly troublesome in

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the setting described, because [1304] the resort to law may upset the operation of several of the most important values of the relation; imposing a norm of flexibility may cause parties to be more precise in specifying the terms of their contracts and therefore less flexible.

At this point advocates of relational contract and neoclassical contract share a similar problem. Once the problem of norms has been framed, how is it to be decided? To some extent, that is less important than the framing itself; relational contract improves the process of understanding what is at stake in a dispute, so it is a more desirable method on those grounds. Relational contract theory suggests that solving the problem begins with the definition of norms which are immanent in the context. To some extent that definition suggests a solution, but in a complex relation the norms may be very complicated. Furthermore, the solution also depends on harmonization with the social matrix, which is everything in society that is conceptualized as being mostly outside the particular contract. Harmonization with the social matrix introduces the possibility of also applying diffuse norms and values not arising out of the relation; there must be a fit between the relational solution and more general values. Thus, the application of the norms identified, internal and external, may be more or less determinate. In the hypothetical, it is something of an open question whether contractual solidarity indicates that the actress ought to stick to her deal because television production is a risky business or that her employer ought to share its windfall with her. When the application of norms is less determinate, relational theory may raise more questions than it answers, but the questions tend to be different ones than are raised by neoclassical contract law.

V. Empirical contract theory

[1.40] One of the things that relational contract does better than neoclassical contract is to investigate the ways in which contracting operates in the world and the ways in which contract law affects contracting behavior. This type of investigation has been the particular focus of empirical contract theory. "Empirical" and "theory" may seem to be an odd conjunction, but empirical contract theory depends on both empirical study and conceptualization of the results of the study.

Neoclassical scholars believe that contract law is detached yet functional. Law is the province of lawyers and judges, and it is shaped by them through the professional discourse of legal reasoning. [1305] Law is not for lawyers, though; it serves the needs of the society. Contract law, in particular, facilitates commerce by permitting parties to invoke or avoid legal obligation, providing standards that define the legal consequences of different types of behavior (thereby providing direct incentives through legal sanctions and indirect incentives through the threat of sanctions), and, more generally, establishing a set of background norms that define legitimate market relations. In sum, contract law is a significant immediate and background force in everyday economic relations. Empirical contract theory disputes this picture of contract law's functional role. In the empirical view, contract law is not irrelevant to the world of commerce, but it is of *much more limited relevance* than neoclassical law assumes. Indeed, one cannot speak in accurate general terms about the relevance of contract law; when contract law does operate, it does so in particular ways, to particular parties, in particular situations, and only empirical investigation can make clear those particularities. Empirical contract's focus on particularity makes it difficult to generalize about the use and non-use of contract law, but in this section I summarize some of the findings of the school. Especially useful introductions are Macaulay, "An Empirical View of Contract" (1985) *Wisconsin Law Review* 465, and "Elegant Models, Empirical Pictures, and the Complexities of Contract" (1977) 11 *Law & Society Review* 507.

The most general finding of empirical contract theory is the *marginality* of contract law in the world of commerce. As a general matter, the substance and form of state-enforced norms and the system [1306] of adjudication through which they are invoked are not among the most important elements of the incentive structure facing people in business. Other factors, such as relations with one's suppliers and customers, the need for prompt performance, and advantages in market situations are usually more important. Therefore, when "contracting", people do not usually consciously shape their conduct to conform to the requirements of the law or to achieve certain legal effects; indeed, often business people are unlikely to know of the content of the law or of the legal consequences of

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their actions. Even when disputes arise, the law tends to figure less prominently in parties' approaches to resolving the disputes than do non-legal factors, such as norms of the business community and economic considerations.

If law in general is marginal, contract law is even more marginal. Contract law has long been thought of as general and residual, concerned with behavior that more specific bodies of law do not treat adequately or at all. In contracting, though, those more specific bodies of law figure more prominently than the law of the *Restatement of Contracts* and the *Uniform Commercial Code*. Statutory and administrative regulation, such as labor and corporate law, are more likely to affect behavior than the residual and therefore marginal law of contract. In terms of process, forums other than courts adjudicating contract law disputes are often used when legal intervention is desired.

Business people are not irrational in giving short shrift to contract law. Legal form and legal liability typically have a relatively low position in the incentive structure of people in business. However, paying little attention to law is not the same as not being careful and deliberative. People in business plan a great deal, but relatively little of that planning is primarily directed at achieving a particular legal position. Furthermore, their behavior reflects the common phenomenon that rationality among real people is not the self-interested market calculating conceived by economic analysis or by neoclassical contract, but the less analytical process of life in a community. People in commercial communities, like people in other communities, often observe customary practices and standards without regard for their immediate self-interest, sometimes even to the detriment of their immediate interest.

[1307] Of course, contract law is used sometimes, both as a planning tool and as a means of dispute resolution. When it is used, it is seldom used in the way posited by neoclassical law: as a means of effectuating general public values. The parties themselves are only concerned with obtaining some advantage, not with effectuating the law's values. As Stewart Macaulay, doyen of empirical contract theory states, "Loopholes, salvage operations, the bureaucratic process of debt collection, and evasions of responsibility account for a large proportion of contract activity found in the real world of the courts." In none of these instances is the process designed to or likely to further academic values such as "protecting legitimate expectations". The process of implementing values is profoundly influenced by factors both inside and outside contract law, such as the limits of the remedies provided by contract law and the availability and cost of lawyers. This can be seen clearly by imagining a typical negotiation about a contract dispute, in which the parties' rights under contract law often are not the most important factor determining how the dispute is resolved. Likely to be more important are the costs of litigation, the relative economic positions of the parties, and their familiarity with the legal process involved. Moreover, even the notion of contract rights is often unhelpful; the law's values and their doctrinal embodiment are so vague and conflicting that results are largely indeterminate.

Finally, empirical theory suggests that when contract law does operate, it always operates in context. This is a point more general than the neoclassical notion that courts must be attentive to setting in deciding cases. It indicates that the neoclassical paradigm of a market transaction between parties, each of whom has significant bargaining power, is misleading, and that therefore the idea of a general law of contract is illusory. Although there are contexts of relative equality among bargainers, other kinds of settings are much more numerous. There are competitive contexts in which the economic dependence of one party on another is the essential feature so that bargaining is one-sided. An example is the relationship between a small financially weak supplier of component parts and a much more powerful buyer, such as an automobile manufacturer. There are contexts in which dependence is heightened by the extensiveness of the relationships between [1308] the parties and there is little bargaining at all. The position of an ordinary employee in a large enterprise illustrates. There are contexts in which norms of cooperation and continuity predominate, and contexts in which those norms are virtually absent. Each of these contexts requires a different treatment, and the differences make general principles of contract law not particularly useful as tools for structuring analysis.

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What all this suggests is that the neoclassical assumption that contract law is detached lawyer's law is accurate, but that its assumption that the lawyers' process produces a socially effective product is inaccurate …

Empirical theory goes on to suggest what contract law does do, as well as what it does not do. Contract law is not an important tool of commercial regulation, but it does have a purpose: It is primarily an arena for the production of professional ideology and elite values about commercial behavior, and secondarily a self-serving exercise for law professors …

VI. Critical contract theory

[1.45] The most extensive challenge to neoclassical contract, and in some respects the one that incorporates elements of all the others, is provided by critical contract theory. Critical legal studies has been widely attacked, in part because its tenets have been misunderstood, but also in part because its underlying message has been understood very well. Critical legal studies sometimes is regarded as merely a collection of well-known insights, such as that legal doctrine is not susceptible to mechanical application and that deciding cases involves a clash of conflicting values. Alternatively, it is attacked [1309] for being unsupported by the evidence, exaggerated, destructive, and for lacking an affirmative program. Each of these criticisms misstates important elements of critical contract theory and its relation to neoclassical law.

If critical legal studies can be said to have a core assertion, it is this: The conventional understanding of law is that it is presumed to be true, valid, and useful in an essentially non-ideological way, while law actually is *a constructed reality*, the form, substance, and method of which conceals its problematic, controversial, and ideological nature.

In the conventional, neoclassical understanding, contract law successfully regulates a distinct area of social interaction, the area of private agreements. The area is distinct in that all private agreements share more important characteristics with each other than they do with other forms of social intercourse. The regulation is successful because contract law reconciles private autonomy (freedom of contract) with public concerns (such as fairness) through a body of principles and a decision method that focus courts' attention on important social facts, public policies, and moral principles. While the reconciliation is never perfect, it does adapt well to problems that arise in the doctrine and to changing social conditions. Because the body of contract doctrine is predictable yet flexible, it effectively guides and controls parties' conduct.

In the critical understanding, contract law does none of these things, but it presents a powerful ideological *image* that does all of them. The discussion which follows in the text particularly draws on R Unger, *The Critical Legal Studies Movement* (1986); Dalton, "An Essay in the Deconstruction of Contract Doctrine" (1985) 94 *Yale Law Journal* 997; Feinman: "Critical Approaches to Contract Law" (1983) 30 *UCLA Law Review* 829, "Promissory Estoppel and Judicial Method" (1984) 97 *Harvard Law Review* 678, "The Meaning of Reliance: A Historical Perspective" (1984) *Wisconsin Law Review* 1373; Gabel & Feinman, "Contract Law as Ideology", in *The Politics of Law* 172 (D Kairys ed, 1982); and Kennedy, "Form and Substance in Private Law Adjudication" (1976) 89 *Harvard Law Review* 1685.

The beginning point, contract – the concept of a realm of private transactions – is itself a *representation* of social reality, rather than an element of an objective social reality. Classical contract law represented a world of totally autonomous individuals, free [1310] to transact on any terms they wished and thereby to control their own destinies. Neoclassical law presents a different image, of relatively autonomous individuals transacting in an environment regulated by trade custom and state intervention that alleviates the most extreme hardships of the market. Neither of these images is "true" or "accurate", but each of them first directs attention to the *individual* as the basic unit of social organization and to the extent to which the individual is an independent social actor, and then suggests that the interactions of individuals (in neoclassical law, within a regulated market) makes the existing social, economic, and political order essentially just and fair.

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This type of ideological representation is especially powerful because it appears to be immanent in the definition of the situations addressed by contract law. For neoclassical law, the arrangement between an actress and her employer is not something that should be treated as a contracts case, it is a contracts case, so that all the imagery and values embodied in contract law are immediately present without being consciously invoked. This point, like the related point made by death of contract theory, presents a fundamental challenge to contract law, because it demonstrates that contract cases are not necessarily contracts cases; rather, they are social events that await classification and conceptualization by one or more of the many available bodies of law.

Although the implicit justification for this image is the status quo, for contract scholars and lawyers the perception of fairness rests on and is developed through the reconciliation of the traditional principle of freedom of contract and modern principles such as fairness and cooperation. Freedom of contract, of course, is grounded in the concept of choice: people should be free to choose which contracts they will enter into, on what terms, and which contracts they will avoid. Choice is restrained, however, by considerations of fairness, as to the means and ends of contracting. Most often, fairness is defined by conventional standards of market behavior.

[1311] For critical theory, the notion of choice and the accepted means of regulating it are inadequate bases for legal doctrine and decision. The concept of choice suggests that one's choice in entering into a contract is subsequently binding through legal enforcement, subject to qualifications introduced by fairness concerns. In every breach of contract case, however, the breaching party has made two choices: one to make a promise and second to fail to honor the promise. Deciding which of those choices to honor must depend on something other than the concept of protecting freedom of choice and binding people to their choices.

That something else is the set of principles and policies that underlie contract law. The arguments in support of a particular decision or rule, or of contract law as a whole, are seldom presented in a systematic way. The multi-dimensional, anti-theoretical nature of neoclassical contract causes this lack of order at the same time as it obscures it. Arguments about the legitimate expectations of the parties, the requirements of the factual setting, the bindingness of choice, or various "policies" are quite common but wholly unsatisfactory. Nevertheless, the principled basis of contract can be ordered in several meaningful ways.

One useful ordering of this material, and a common one in the critical literature, is to suggest that it coheres around two competing social visions, generally referred to as *individualism* and *collectivism* (or communitarianism). These two visions originate in a basic fact of human existence: other people are necessary for the development of one's personality and for the conditions of life, but they also threaten to inhibit one's freedom and harm one's way of life. This is the so-called fundamental contradiction: see Kennedy, "The Structure of Blackstone's Commentaries" (1979) 28 *Buffalo Law Review* 205, 211–18.

Individualism posits a world of independent actors, each of whom pursues her own subjectively determined interests without regard for the interests of others. *Collectivism* assumes a world of individuals who are essentially social beings that accept the benefits and responsibilities that come from living in society, which includes having others be concerned about them and showing equal concern for others.

[1312] In the critical view, neither social vision separately, nor both together, provide a determinate basis for neoclassical contract law. Because both individualist and collectivist social visions inhere in the human condition, a body of law based entirely on one of them at the expense of the other would be fundamentally illegitimate. Such a body of law would be unrealizable as well; the individualist and collectivist visions are so abstract that they do not provide a particular content for a body of law. Together, the visions present fundamental oppositions on every issue of doctrine. Critical analytic methods, including especially deconstruction, reveal these oppositions in cases that neoclassical law regards as easily settled.

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What would be needed to resolve this opposition, in the absence of a determinate substantive content of contract law, is a determinate method of legal analysis. Usually neoclassical discussions of legal method are very vague. Nevertheless, the main elements of neoclassical method are clear, involving some application of precedent, some exercise of situation-sense, and some normative analysis.

In a particularized instance of the kind of ideological imagery discussed earlier, many neoclassical cases are addressed either through the simple application of doctrine or through the analysis of the facts out of which the case arises, in the expectation that either the doctrine or the facts bears an obviously correct solution. Both of these approaches obscure the complexity of the factual settings, which may be conceptualized in many different ways, and the opposition of values inherent in the doctrine. More troublesome cases may be subjected to policy analysis, in which competing values and interests are balanced to achieve a correct result. But balancing requires a scale, an objective measure by which the weights of the policies can be assessed and compared. The subjectivity of values in liberal society and the fundamental conflict between individual and collective interests deny that sort of objectivity.

Thus critical theory asserts that contract has neither a determinate content nor determinate method. Given the time that has been spent on this sort of discussion one would have thought it would be clear by now. However, there is a constant confusion, deliberate or otherwise, of the critical argument – doctrine is indeterminate – with the conventional argument – results frequently are predictable. Whether a particular promise should be enforced cannot be objectively decided within the bounds of neoclassical discourse. But that [1313] is not to say that we cannot predict how a court is likely to decide the question. Results are predictable, for reasons that bring us back to our starting point. While the choices available to a court are theoretically indeterminate, judges typically do not have a sense of that indeterminacy. The ideological function of contract law is to *conceal* those choices, to make results *seem* determinate when they are not.

This process of concealment is neither random nor accidental. Contract law may have a limited role for people who contract, but it has a significant role for lawyers and especially for scholars of contract law. Contract law is one of the arenas in which people develop and internalize images of society and of their role in it that justify their position and reduce alienation. As contract law is one realm of elite ideology, the concealment it produces typically *legitimates* the status quo. It is through this legitimation, rather than through the direct influence of doctrine, that contract can be seen as basically a conservative force; contract in the first instance oppresses understanding and imagination, not the underprivileged, but it is the lack of understanding and imagination that is a principal guardian of privilege.

VII. Conclusion: theories and theorists

[1.50] Most of contract law in casebooks, courts, and commerce deals with mundane transactions. Occasionally, though, an unusual or dramatic case becomes a vehicle for defining and testing our vision. One such case is *Local 1330, United Steel Workers v United States Steel Corp* (6th Cir 1980) 492 F Supp 1 (ND Ohio), aff'd 631 F 2d 1264, one of the first of a group of recent cases in which common law doctrines have been invoked to protect workers from the consequences of plant closings. In *Local 1330*, the workers asserted that promissory estoppel barred US Steel from closing two steel mills in Youngstown, Ohio, because company officials had stated that the mills would remain open if the workers improved the mills' [1314] profitability. The opinions of the district court and court of appeals revealed sensitive understanding both of the enormous importance of the case to the plaintiffs and their community and of the possibilities for remedy through contract law. Both courts rejected the plaintiffs' claim, though, because the doctrinal requirements of Restatement (Second) section 90 had not been met.

This is a representative neoclassical result. Contract law is seldom a vehicle for acts that are politically controversial or disruptive of the established economic and political order. If, within neoclassical law, the court had reached a conclusion favoring the plaintiffs, the result probably would have been a modest one, such as providing for severance pay as reliance damages, rather than a

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dramatic one, such as recognizing ownership rights in a factory arising from long-term employment and economic dependence. If the result had been dramatic, over time its radical potential would have been moderated by pressures from the social and legal settings.

This case embodies the strengths and limits of neoclassical contract. Because neoclassical law is not deterministic, the judges can consider the national economic transformation which produced the case and the workers' heroic struggle to save their jobs. However, because neoclassical law is structured by doctrine and by the social images which doctrine represents, the judges tend to limit the influence of such considerations on the decision. The doctrine and images focus the judges' inquiry more narrowly on issues such as the presence of a particular *promise*, as happened in *Local 1330*. Thus neoclassical contract is unlikely to be an effective vehicle for a thoroughgoing examination of the issues involved in such an important case.

[1315] This conclusion flows from the link between theories and the theorists who create and apply them. The critical message of indeterminacy suggests that *Local 1330* could have come out very differently; neoclassical doctrine and principles include elements that theoretically could have been used for a radical result in the case. But neoclassical theory is associated with and used by theorists and judges of mainstream political and professional orientations, so the opportunities created by the indeterminacy are seldom realized.

The next question is whether any of the non-mainstream contract theories are likely to be better vehicles for dealing with this situation in all its fullness. In each case, the question concerns how the theory is likely to be applied by its adherents, not how some logic inherent in the theory compels the approach. From that perspective, each theory may be useful in different ways. A dramatic limiting case such as *Local 1330* seems to validate elements of the theories' critiques of neoclassical law and reinforce their own strengths.

Death of contract theory asserts the lack of integrity of contract law and contract's identity with other areas of law. If contract is not distinct, then *Local 1330* usefully can be addressed as a property case, or a tort case, or through some more generalized mode of analysis. Those avenues raise issues not easily seen through the lens of contract. When the insight about the common nature of many legal questions is extended, as it is by critical theory, then even more possibilities arise.

Metatheories likewise can suggest different ways of looking at a problem such as this. The weakness of a metatheory becomes especially apparent here, however. An issue so complex cannot be adequately addressed by a theory that proceeds rigorously from a limited basis. For example, neither the workers' interests nor the [1316] economic and social consequences of a court's decision to intervene or not can be easily captured in an analysis oriented exclusively toward efficiency.

Contrarily, *relational contract theory* seems especially powerful for multifaceted issues. Its employment of the relational contract as the prototype for analysis broadens the scope of factual inquiry far beyond specific acts of the workers' reliance on specific representations of their bosses. Its more complex normative structure frames many of the value issues involved as well. Both of these aspects are especially relevant in a case such as this, in which non-legal norms and the social matrix are intimately involved in the legal decision.

In support of that recognition of non-legal factors, *empirical contract theory* emphasizes the limited significance of contract law in dealing with events such as these. Both retrospectively, in dealing with the Youngstown crisis, and prospectively, in formulating legal standards for plant closings and similar events, contract law is only one of many forums in which the issues are disputed, and probably not the most important forum at that. Empirical contract theory cautions that the consequences of legal actions must be investigated, not assumed, especially in large events.

Finally, *critical contract theory* is particularly well suited for thinking about a case like *Local 1330*. Critical theory first reveals the extent to which structures of power are embedded in seemingly neutral constructs, like US Steel's "ownership" of the plants and the workers' need to prove "reliance" on a "promise". Once those structures are understood to be constructed ideology rather than factual or

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logical necessity, the case can be seen to involve the most fundamental issues about the way people live their lives in our society, and critical theory provides some devices for resolving those issues.

Considering more directly the *political consequences* of different contract theories presents one more view of the theories' significance and their relative merits. Here is a tentative but reasonable prediction on how different contract theorists would feel about extending the law to provide a remedy for the workers in *Local 1330*. At one extreme, law and economics and entitlements [1317] metatheorists are usually politically conservative, so one would expect them to be reluctant to constrain US Steel's freedom of action except in a limited way in a particularly egregious case. At the other extreme, critical scholars are left or left-leaning, so they would be more likely to favor empowering the workers. Everyone else would fall in between, without obvious differences. Just as an impression, empirical scholars tend to be more left-liberal than the average among neoclassical scholars. Relational scholars are diverse; Macneil himself seems drawn to small-is-beautiful politics, though perhaps of a conservative sort. It is difficult to predict how each of these would come out on *Local 1330*, although they are likely to be more sensitive to the possibilities for remedy and the limits of legal intervention.

There is a different political dimension that ought to be considered, too, namely the professional ideology of legal academics. The defining question here is how to reconcile the tension between law teachers' role as members of the legal profession who are responsible for training practicing lawyers with their positions as university academics engaged in independent scholarship. Neoclassical scholars largely adopt as their own the standards of the practicing branch of the profession, so that neoclassical scholarship resembles a slightly more abstract and detached form of normal legal reasoning. Non-mainstream scholars lean more to the academic side of their role, though in different ways. Metatheorists favor scientific or philosophical method, often but not always in support of established legal norms. Empirical theorists simultaneously focus more on law-in-action and lawyers' practice while they employ non-lawyerly methods, such as sociological investigation. Relational theorists seem more heavily academic. Critical scholars are critical in the technical sense of the term, which connotes the use of non-traditional academic inquiry that addresses practical issues in seemingly impractical ways. Death of Contract scholars, if there are any, are again idiosyncratic ….

[1318] Neoclassical scholarship is inescapably the scholarship of the center, of the status quo. Metatheory is the scholarship of the right, using claims of scientific or philosophical objectivity in support of conservative politics. Relational contract, empirical contract, and death of contract theory are more academic forms of scholarship that depart from the intellectual and political mainstream, and are therefore somewhat threatening to the center. Critical theory is the scholarship of radical alternatives. Seen that way, politics, broadly understood, is an important basis for the choice among contract theories.

[1.55] **Note**

Only some of the footnote references have been reproduced in this edited version of the article.

Contract Law: Fulfilling the Reasonable Expectations of Honest Men

[1.60] J Steyn (A Lord of Appeal in Ordinary), "Contract Law: Fulfilling the Reasonable Expectations of Honest Men" (1997) 113 *Law Quarterly Review* 433.

A thread runs through our contract law that effect must be given to the reasonable expectations of honest men. Sometimes this is made explicit by judges; more often it is the implied basis of the court's

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decision. I would like to examine what this means, and to relate it to some parts of English contract law. It is an important subject for the future development of English contract law.

The modern view is that the reason for a rule is important. The rule ought to apply where reason requires it, and no further. But often the real purpose of a rule is debatable. The question can then only be solved by rational argument, and a judgment by an impartial judge. Once the purpose of a rule has been identified by effective and proper adjudication, it is an important and legitimate matter to enquire whether the rule as formulated fulfils that purpose. If it appears not to fulfil the purpose, it is potentially defective. At the very least a judge, and particularly an appellate court, is then entitled to re-examine the law to make doubly sure that the law indeed commands that a rule must be applied that does not make sense. Usually, it will be found, on conscientious and rigorous re-examination, that the common law solution is one which is meaningful and in accord with common sense. In that process of re-examination a judge is entitled to take into account that simple fairness ought to be the basis of every legal rule and, in a common law case, that the presumption in favour of the fair solution is powerful. These considerations are the framework in which one must approach the proposition that in contract law effect must be given to the reasonable expectations of honest men.

That leads me to a preliminary distinction. It is a defensible position for a legal system to give predominance to the subjective intentions of the parties. Such a policy can claim to be committed to the ideal of perfect individualised justice. But that is not the English way. Our law is generally based on an objective theory of contract. This involves adopting an external standard given life by using the concept of the reasonable man. The commercial advantage of the English approach is that it promotes certainty and predictability in the resolution of contractual disputes. And, as a matter of principle, it is not unfair to impute to contracting parties the intention that in the event of a dispute a neutral judge should decide the case applying an objective standard of reasonableness. That is then the context in which in English law one should interpret the proposition that effect must be given to the reasonable expectations of honest men.

The objective theory of contract

[1.65] [434] It is possible to refine the meaning of the proposition. Once one uses the external standard of reasonableness the reference to honest men adds little. Although the hypothetical reasonable man pursues his own commercial self-interest he is by definition not dishonest. The proposition can therefore be re-defined simply to say that the law must respect the reasonable expectations of the contracting parties. That brings me to consider what the reasonable expectations of the parties means. The expectations that will be protected are those that are, in an objective sense, common to both parties (Reiter and Swan, "Contracts and the Protection of Reasonable Expectations" in *Studies in Contract Law*, ed Reiter and Swan (1980), 1 at p 7). The law of contract is generally not concerned with the subjective expectations of a party. The law does not protect unreasonable expectations. It protects only expectations which satisfy an objective criterion of reasonableness. Reasonableness is a familiar concept and no definition is necessary. But it is, of course, right to stress that reasonableness postulates community values. It refers not to the standards of Lord Eldon's day. It is concerned with contemporary standards not of moral philosophers but of ordinary right thinking people. Sometimes those standards will receive their distinctive colour from the context of a consumer transaction, a business transaction or even a transnational financial transaction. And the usages and practices of dealings in those disparate fields will be prime evidence of what is reasonable.

It is of some relevance to consider the status of our proposition. It is certainly not a rule of law. It is possible to argue that it is a general principle of law, such as, for example, the principle that no man may benefit from his own wrongdoing. I prefer to regard it as the central objective of the law of contract. The function of the law of contract is to provide an effective and fair framework for contractual dealings. This function requires an adjudication based on the reasonable expectations of parties. It is right to acknowledge, however, that the reasonable expectations of parties cannot always prevail. Sometimes they must yield to countervailing principles and policies. For example,

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other values enshrined in law and public policy may render the contract defeasible. Nevertheless, the aim of protecting reasonable expectations remains constant (Reiter and Swan, op cit, supra at p 6).

It is now possible to examine how the English law of contract measures up to this policy. Inevitably, I will have to be selective. But I hope to look at topics that are of considerable practical importance. The first relates to the formation of contracts.

Offer and acceptance

[1.70] The classical doctrine is that a contract can only come into existence by the congruence of a matching offer and acceptance. As a general proposition this makes sense. But it does not solve all cases satisfactorily. Take, for example, the so-called battle of the forms cases, notably in the [435] field of negotiations for the conclusion of building and engineering contracts. Each party insists on contracting only on his own standard conditions. In the meantime the work starts. Payments are made. Often it is a fiction to identify an offer and acceptance. Yet reason tells us that neither party should be able to withdraw unilaterally from the transaction. The reasonable expectations of the parties, albeit that they are still in disagreement about minor details of the transaction, often demand that the court must recognise that a contract has come into existence. The greater the evidence of reliance, and the further along the road towards implementation the transaction is, the greater the prospect that the court will find a contract made and do its best, in accordance with the reasonable expectations of the parties, to spell out the terms of the contract (*G Percy Trentham Ltd v Archital Luxfer Ltd* [1993] 1 Lloyd's Rep 25).

The doctrine of privity

[1.75] That brings me to a serious blemish in the English law of contract. Some eighty years ago, in *Dunlop Pneumatic Tyre Co Ltd v Selfridge Co Ltd* [1915] AC 847 the House of Lords held that English law does not recognise a contract for the benefit of a third party ….

Despite the condemnation by many judges and academic writers the privity rule still lingers on. The rule was laid down as being a self-evident proposition of logic. But the logic was flawed. It is indeed obvious that a bilateral contract cannot impose a burden on a stranger. But if for commercial or other good reasons two parties agree that one will confer a benefit on a third party, and the latter accepts the benefit, no legal logic demands that the stipulation be denied effect. Certainly, the doctrine of [436] consideration poses no problem: ex hypothesi the stipulation for the benefit of a third party is part of an agreement involving an exchange of promises between the contracting parties. The ruling in *Dunlop Pneumatic is* inconsistent with the prime function of the law of contract, which is to facilitate commercial dealings. It ignores the fact that parties in good faith rely on the agreement for the benefit of a third party. It fails to take into account that businessmen, for sensible reasons, sometimes wish to enter into such promises in favour of third parties. Confidence in promises is the lifeblood of commerce; and there can be no confidence if parties are not obliged to perform their promises. The privity rule causes particular difficulties where main contractors, subcontractors and consultants are linked in a network of contracts. The privity rule also frequently prevents a party to a bilateral contract from taking out an insurance policy for the benefit of a third party. Where there is no statutory inroad on the privity rule such a stipulation is unenforceable. Take also the common example of a buyer of goods from a distributor. As part of the distributorship agreement between the manufacturer and distributor a manufacturer's warranty is given for the benefit of the buyer. No consideration passes from the buyer to the manufacturer. The manufacturer's warranty is a classic contract for the benefit of a third party. It would be a serious defect in our contract law if businessmen were precluded by legal doctrine from conferring such benefits on third parties. Not surprisingly, judges display much ingenuity in inventing exceptions to the rule to avoid the inconvenience and unfairness of the rule. It is also noteworthy that a contract for the benefit of a third party is recognised in the legal systems of most European countries, as well as in much of the common law world, including the United States, New Zealand and parts of Australia. In an excellent report the English Law Commission has recommended that the rule be reversed by statute (*Privity of Contract: Contracts for the Benefit of Third Parties, Law Com* No 242, Cm 3329 (1996) [This recommendation has now

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been implemented: see below, Chapter 11 – eds]). Given decades of procrastination one would hope that the proposed legislation will now be enacted speedily. It is to be noted, however, that the Bill provides that the legislation should not be construed as preventing judicial development of third party rights. That is important because the legislation may not be comprehensive. The Law Commission's proposals require identification of the third party by name, as a member of a class or as answering a particular description. It may not give a remedy in all cases. It may therefore still be desirable for the House of Lords to review *Dunlop Pneumatic* in a suitable case.

The doctrine of consideration

[1.80] This brings me to the related topic of consideration. The classic model of English contract law is a bargain: and a bargain postulates an exchange. Consideration is therefore historically a fundamental doctrine of English law. Almost 90 pages are devoted to it in the ninth and latest edition of [437] Professor Treitel's book on contract law. At first glance it seems a highly technical doctrine. The question may be asked why the law should refuse to sanction a transaction for want of consideration where parties seriously intend to enter into legal relations and arrive at a concluded agreement. If the court refuses to enforce such a transaction for no reason other than that the parties neglected to provide for some minimal or derisory consideration, is it not arguably a decision contrary to good faith and the reasonable expectations of the parties? Some of these considerations may have led Lord Goff of Chieveley in *The Pioneer Container* ([1994] 2 AC 324, 335; see also *White v Jones* [1995] AC 207, 262–3; *The Mahkutai* [1996] AC 650, 663–5) to say that it is now open to question how long the principles of privity of contract and consideration will continue to be maintained. In my view the case for abandoning the privity rule is made out. But I have no radical proposals for the wholesale review of the doctrine of consideration. I am not persuaded that it is necessary. And great legal changes should only be embarked on when they are truly necessary. First, there are a few cases where even in modern times courts have decided that contractual claims must fail for want of consideration. On the other hand, on careful examination it will usually be found that such claims could have been decided on other grounds, *eg* the absence of an intention to enter into legal relations or the fact that the transaction was induced by duress. Once a serious intention to enter into legal relations and a concluded agreement is demonstrated in a commercial context there is virtually a presumption of consideration which will almost invariably prevail without a detailed search for some technical consideration (see *The Eurymedon* [1975] AC 154, 167). On balance it seems to me that in modern practice the restrictive influence of consideration has markedly receded in importance. Secondly, it seems to me that in recent times the courts have shown a readiness to hold that the rigidity of the doctrine of consideration must yield to practical justice and the needs of modern commerce. The landmark case is the decision of the Court of Appeal in 1990 in *Williams v Roffey Bros & Nicholls (Contractors) Ltd* [1991] 1 QB 1. The important question arose whether there is sufficient consideration where one contracting party promised to pay an additional sum to the other contracting party simply in return for a further promise by the latter to perform his already existing contractual obligations. The orthodox view would have been that there was no consideration. But the Court of Appeal unanimously held that the defendants were bound by their promise since there was consideration in the form of the practical benefit inherent in the transactions. The court was obviously concerned that the doctrine of consideration should not restrict the ability of commercial contractors to make periodic consensual modifications, and even one-sided modifications, as the work under a construction contract proceeded. The [438] reasonable expectations of the parties prevailed over technical and conceptualistic reasoning.

Good faith

[1.85] Next I turn to the approach of English law to the concept of good faith. In the new jus *commune* of Europe there is a general principle that parties must negotiate in good faith, conclude contracts in good faith and carry out contracts in good faith. The important point to note is that in exercising his rights and performing his duties each party must act in accordance with good faith and fair dealing. And the parties may not exclude this duty (*Principles of European Contract Law, Part 1: Performance,*

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Non-Performance and Remedies, prepared by the Commission on European Contract Law, ed Lando and Beale (1995), Art 1.106, p 53). The *Principles of International Commercial Contracts* published by Unidroit also provide that in international trade parties must act in accordance with good faith and fair dealing, and that they may not exclude or limit this duty (Art 1.7, pp 16–17). In the United States the influential Uniform Commercial Code is explicitly and squarely based on the concept of good faith. Elsewhere in the common law world, outside the United Kingdom, the principle of good faith in contract law is gradually gaining ground. It is the explicit basis of many international contracts. Since English law serves the international market place it cannot remain impervious to ideas of good faith, or of fair dealing. For my part I am quite confident that businessmen and indeed people on the Underground have no problem with the concept of good faith, or fair dealing. They understand very well what bad faith means. But English lawyers remain resolutely hostile to any incorporation of good faith principles into English law. The hostility is not usually bred from any great familiarity with the way in which the principle works in other systems. But it is intense. My impression is that the basis of the hostility is suspicion about what good faith means. If it were a wholly subjective notion, one could understand the scepticism. If it were an impractical and open-ended way of fastening contractual liability onto parties, it would deserve no place in international trade. But it is none of these things. While I accept that good faith is sometimes used in different senses I have in mind what I regard as the core meaning. Undoubtedly, good faith has a subjective requirement: the threshold requirement is that the party must act honestly. That is an unsurprising requirement and poses no difficulty for the English legal system. But good faith additionally sets an objective standard, viz, the observance of reasonable commercial standards of fair dealing in the conclusion and performance of the transaction concerned. For our purposes that is the important requirement (Farnsworth, "Good Faith in Contract Performance", in *Good Faith and Fault in Contract Law*, ed Beatson and Friedmann (1995), 154–90). Used in this sense judges in the greater part of the industrialised world usually have no great difficulty in identifying a case of bad faith. It is not clear why it should [439] perplex judges brought up in the English tradition. It is therefore surprising that the House of Lords in *Walford v Miles* held that an express agreement that parties must negotiate in good faith is unenforceable. Lord Ackner observed that the concept of a duty to carry on negotiations in good faith is inherently repugnant to the adversarial position of the parties when involved in negotiations ([1992] 2 AC 128 at p 138E. See Sir Patrick Neill QC (1992) 108 LQR 405). As the Unidroit principles make clear it is obvious that a party is free to negotiate and is not liable for a failure to reach an agreement. On the other hand, where a party negotiates in bad faith not intending to reach an agreement with the other party he is liable for losses caused to the other party. That is a line of reasoning not considered in *Walford v Miles*. The result of the decision is even more curious when one takes into account that the House of Lords regarded a best endeavours undertaking as enforceable. If the issue were to arise again, with the benefit of fuller argument, I would hope that the concept of good faith would not be rejected out of hand. There is no need for hostility to the concept: it is entirely practical and workable. Indeed from July 1995 the EC Directive on Unfair Terms in Consumer Contracts has been in operation in England (*Unfair Terms in Consumer Contracts Regulations*, SI 1994 No 3159). The Directive treats consumer transactions within its scope as unfair when they are contrary to good faith. It is likely to influence domestic English law. Given the needs of the international market place, and the primacy of European Union law, English lawyers cannot avoid grappling with the concept of good faith. But I have no heroic suggestion for the introduction of a general duty of good faith in our contract law. It is not necessary. As long as our courts always respect the reasonable expectations of parties our contract law can satisfactorily be left to develop in accordance with its own pragmatic traditions. And where in specific contexts duties of good faith are imposed on parties our legal system can readily accommodate such a well tried notion. After all, there is not a world of difference between the objective requirement of good faith and the reasonable expectations of parties.

The interpretation of written contracts

[1.90] That brings me to the interpretation of written contracts. Disputes about the meaning of contracts comprise one of the largest sources of contractual litigation, notably in respect of

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international contracts. The reason is, in the words of Oliver Wendell Holmes, that a word is not a transparent crystal. Clarity is the aim but absolute clarity is unattainable. And it is impossible for contracting parties to foresee all the vicissitudes of commercial fortune to which their contract will be exposed. Moreover, and quite understandably, business bargains have to be struck under great pressure of events and time. In passing I add that it is therefore particularly tiresome for judges to expatiate on the quality of draftsmanship of commercial contracts. Judges must simply do the best they can with the raw materials [440] they are given. Given the intractable nature of problems of construction, the solution of English law is not to ask what the parties subjectively intended but to ascertain what in the context of the contract the language means to an ordinary speaker of English. By and large the objective approach to questions of interpretation serves the needs of commerce. It tends to promote certainty in the law and predictability in dispute resolution. But I must examine the matter in a little more detail. There is the rule that the court is not permitted to use evidence of the pre-contractual negotiations of the parties or their subsequent conduct in aid of the construction of written contracts even if the material throws light on the subjective intentions of the parties. Logically, these rules follow from the primary rule that the task of the court is simply to ascertain the meaning of the language of the contract. And the rationality of the law is important. But, if these rules were absolute and unqualified the primary rule would sometimes defeat the reasonable expectations of commercial men. Pragmatically, it has been decided that if pre-contractual exchanges show that the parties attached an agreed meaning to ambiguous expressions that may be admitted in aid of interpretation. (*The Karen Oltmann* [1976] 2 Lloyd's Rep 708. See McLauchlan (1997) 113 LQR 237.) That is a substantial inroad into the primary rule in aid of the protection of the reasonable expectations of the contracting parties. More importantly, the courts have resorted to estoppel to temper the rigidity of orthodox rule regarding the inadmissibility of subsequent conduct. Thus in the *Vistafjord* [1988] 2 Lloyd's Rep 343 the Court of Appeal authoritatively held that a party may be precluded by an estoppel by convention from raising a contention contrary to a common assumption of fact or law (including the interpretation of a contract) on which the parties have acted. The operation of the estoppel is flexible: it only prevails so far as it would be unjust if one of the parties resiled from the agreed assumption. By this means the reasonable expectations of parties can fairly be met. This is simply one of many examples of the percolation of promissory estoppel into contract law. Promissory estoppel is often used to soften the rigidity of classical contract law solutions in order to give effect to the reasonable expectations of parties.

The general approach of courts to problems of interpretation has undergone a substantial change in the last twenty-five years. There has been a shift away from a black-letter approach to questions of interpretation. The literalist methods of Lord Simonds are in decline. The purposive approach of Lord Reid and Lord Denning, MR, has prevailed. Two questions can be posed. First, what is literalism? This is easy. The tyrant Temures promised the garrison of Sebastia that no blood would be shed if they surrendered to him. They surrendered. He shed no blood. He [441] buried them all alive. (This example is given in The Works of William Paley (1838 edn) Vol 111, 60. Paley's moral philosophy influenced thinking on contract in the last century.) That is literalism. It has no place in modern law. Second, the significance of the trend towards purposive construction must be considered. It does not mean that judges now arrogate to themselves the power to rewrite contracts for parties. It signifies an awareness that a dictionary is of little help in solving problems of construction. Often there is no obvious or ordinary meaning of the language under consideration. There are competing interpretations to be considered. In choosing between alternatives a court should primarily be guided by the contextual scene in which the stipulation in question appears. And speaking generally commercially minded judges would regard the commercial purpose of the contract as more important than niceties of language. And, in the event of doubt, the working assumption will be that a fair construction best matches the reasonable expectations of the parties.

The implication of terms

[1.95] That brings me to the implication of terms. In systems of law where there is a general duty of good faith in the performance of contracts the need to supplement the written contract by

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implied terms is less than in the English system. In our system, however, the implication of terms fulfils an important function in promoting the reasonable expectations of parties. Three categories of implied terms can be identified. First, there are terms implied by virtue of the usages of trade and commerce. The assumption is that usages are taken for granted and therefore not spelled out in writing. The recognition of trade usages protects the reasonable expectations of the parties. Secondly, there are terms implied in fact, *ie* from the contextual scene of the particular contract. Such implied terms fulfil the role of ad hoc gap fillers. Often the expectations of the parties would be defeated if a term were not implied, *eg* sometimes a contract simply will not work unless a particular duty to co-operate is implied. The law has evolved practical tests for the permissibility of such an implication, such as the test of whether the term is necessary to give business efficacy to the contract or the less stringent test whether the conventional bystander, when faced with the problem, would immediately say "yes, it is obvious that there is such an implied term". The legal test for the implication of a term is the standard of strict necessity. And it is right that it should be so since courts ought not to supplement a contract by an implication unless it is perfectly obvious that it is necessary to give effect to the reasonable expectations of parties. It is, however, a myth to regard such an implied term as based on an inference of the actual intention of the parties. The reasonable expectations of the parties in an objective sense are controlling: they sometimes demand that such terms be imputed to the parties. The third category is terms implied by law. This occurs when incidents are impliedly annexed to particular forms of contracts, *eg* contracts for building work, contracts of [442] sale, hire, etc. Such implied terms operate as default rules. (There is an excellent discussion of terms implied by law by Rakoff, "Implied Terms: Of 'Default Rules' and 'Situation Sense'" in *Good Faith and Fault in Contract Law*, ed Beatson and Friedmann (1995), 191.) By and large such implied terms have crystallised in statute or case law. But there is scope for further development. In such new cases a broader approach than applied in the case of terms implied in fact must necessarily prevail. The proposed implication must fit the generality of cases. Indeed, despite some confusion in the authorities, it is tolerably clear that the court may take into account considerations of reasonableness in laying down the scope of terms to be implied in contracts of common occurrence (*Liverpool City Council v Irwin* [1977] AC 239; *Scally v Southern Health and Social Services Board* [1992] 1 AC 294). This function of the court is essential in providing a reasonable and fair framework for contracting. After all, there are many incidents of contracts of common occurrence which the parties cannot always be expected to reproduce in writing. This type of supplementation of contracts also fulfils an essential function in promoting the reasonable expectations of the parties.

Conclusion

[1.100] By way of conclusion I would acknowledge that the English law of contract is far from perfect. There is never a last and definitive word on the law. Yet there has been progress. In a more formalistic era courts sometimes neglected to consider the reason for a rule. But formalism is receding. Modern judges usually have well in mind the reason for a rule and in a contract case that means approaching the case from the point of view of the reasonable expectations of the parties. Where contract law is still deficient it will usually be found that the cause is that the reasonable expectations of the parties have been ignored or given inadequate weight. The most serious structural defect in English contract law is the privity rule. Otherwise English contract law is generally capable of safeguarding the reasonable expectations of parties by its own pragmatic methods. It is therefore not surprising that English standard form contracts are widely used in international transactions. Even more important is the fact that English proper law clauses are widely used in international trade. Businessmen tend to be knowledgeable and they vote for the legal system of their choice with proper law clauses. They recognise that the English law of contract is admirably designed to cope with the challenges of a modern and changing business world. It draws its strength and vitality from a close adherence to the reasonable expectations of the contracting parties.

[1.105] **Notes**

1. The headings in this extract were added by the casebook editors.
2. The "reasonable expectations" approach to contract law has been developed further by WD Slawson, *Binding Promises: The Late 20th Century Reformation of Contract Law* (Princeton University Press, 1996).
3. The principle applied in *The Karen Oltmann* [1976] 2 Lloyd's Rep 708 was significantly narrowed in *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38; [2009] 1 AC 1101, [43]–[47].

CHAPTER **2**

The place of contract within private law

[2.05] *Contracts, Promises and the Law of Obligations* 27

Contracts, Promises and the Law of Obligations

[2.05] PS Atiyah, "Contracts, Promises and the Law of Obligations" (1978) 94 *Law Quarterly Review* 193.

1. The distinction between voluntary and imposed obligations

For at least 100 years – and in many respects for more like twice that time – common lawyers have operated within a particular conceptual framework governing the law of obligations. Within this framework, the fundamental distinction has been that between obligations which are voluntarily assumed, and obligations which are imposed by law. The former constitutes the law of contract, the latter falls within the purview of the law of tort. There is, in addition, that somewhat anomalous body of law which came to be known as the law of quasi-contract, or in more modern times, as the law of restitution. This body of law was accommodated within the new conceptual framework by the academic lawyers and jurists from the 1860s onwards, and, after a considerable time lag, their ideas came to be part of the accepted orthodoxies. The law of quasi-contract, it came to be said, was part of the law of obligations which did not arise from voluntary acts of the will, but from positive rules of law. Quasi-contract thus took its place alongside tort law on one side of the great divide. Contract alone remained on the other side. Nobody ever paid much attention to … the place of equitable obligations in the great divide between voluntarily assumed and legally imposed obligations.

These broad distinctions reflected a set of values, and ways of thought which also exercised a most profound influence on the conceptual pattern which was imposed on Contract law itself. Contractual obligations came to be treated as being almost exclusively about promises, agreements, intentions, acts of will. The function of the law came to be seen as that of merely giving effect to the private-autonomy of contracting parties to make their own legal arrangements. It is, of course, well known indeed, has become part of the modern orthodoxy, that the private autonomy, this extreme freedom of contract, came to be abused by parties with greater bargaining power, and has been curtailed in a variety of ways, both by legislative activity and by the judges themselves. That is a familiar story and I do not wish to pursue it here. What I do wish to discuss is the conceptual framework of Contract and its place in the law of obligations as a whole. I want to suggest that, despite the increasing attacks upon freedom of contract, and the great divide between Contract and Tort, the conceptual apparatus which still dominates legal thinking on these issues is the apparatus of the nineteenth century. It goes, indeed, far beyond the law itself. Our very processes of thought, our language in political, moral or philosophical debate, is still dominated by this nineteenth-century heritage to an extent which, I venture to suggest, is rarely appreciated. I want to suggest, further, that this conceptual apparatus is not based on any objective truths, it does not derive from any eternal verities. It is the result, quite specifically of a nineteenth-century heritage, an amalgam of classical economics, of Benthamite radicalism, of liberal political ideals and of the law, itself created and moulded in the shadow of these movements. The result, I will argue, is that our basic conceptual apparatus, the fundamental characterisations and divisions which we impose on the phenomena with which we deal, do not reflect the values of our own times, but those of the last century. It is true that they reflect much that many will still think most admirable about the nineteenth century, the liberal tradition, the belief in the value and rights of the individual, adherence to an economic and social system which had the confidence to reward enterprise, initiative and success. But to recognise that many of the values of our society today are opposed to much that was admirable in the last century is not to denigrate our

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predecessors. And to argue the case for revising our concepts so that they conform more closely to the values of today involves no judgment that those values are better than the values of yesterday. Indeed, the revision may prove useful to those who think otherwise, for it will bring into greater relief precisely what is involved in today's values.

2. The paradigm of modern contract theory

[2.10] … If we were asked today to indulge in the fashionable exercise of constructing a model of a typical contract, I suspect most common lawyers would come up with something like this. A typical contract is, first, a bilateral executory agreement. It consists of an exchange of promises; the exchange is deliberately carried through, by the process of offer and acceptance, with the intention of creating a binding deal. When the offer is accepted, the agreement is consummated, and a contract comes into existence before anything is actually done by the parties. No performance is required, no benefit has to be rendered, no act of detrimental reliance is needed, to create the obligation. The contract is binding because the parties intend to be bound; it is their will, or intention, which creates the liability. It is true that the law has this technical requirement known as the doctrine of consideration, but except in rare and special cases, mutual promises are consideration for each other, and therefore the model, by definition, complies with the requirement of consideration.

When the contract is made, it binds each party to performance, or, in default, to a liability to pay damages in lieu. Prima facie these damages will represent the value of the innocent party's disappointed expectations. The plaintiff may, therefore, bring suit on a wholly executory contract, for example, because the defendant has attempted to cancel his offer or acceptance, or withdraw from the contract, and may recover damages for his disappointed expectations even though he has not relied upon the contract in any way, and even though the defendant has received no benefit under it. The whole model is suffused with the idea that the fundamental purpose of contract law is to give effect – within limits of course – to the intentions of the parties. It is their decision, and their free choice, which makes the contract binding, and determines its interpretation, and its result in the event of breach. It is, of course, a commonplace today that all legal obligations are, in the last resort, obligations created or at least recognised by the law, but the classical model of contract is easily enough adjusted to take account of this truism. The law of contract, it is said, consists of power-conferring rules. The law provides facilities for private parties to make use of them if they so wish. Those who wish to create legal obligations have only to comply with a simple set of rules and the result will be recognised by the law.

There is no doubt that this model has been of astonishing power. For 100 years it has had no serious rival. Today many lawyers would probably want to qualify it, or modify it in a variety of respects. Many would admit, perhaps insist, that the model is primarily useful in connection with the business transaction, and it does not fit the consumer transaction, or the family arrangement, or other agreements which cannot be characterised as business deals. Even in transactions among business men, many lawyers will want to qualify this model. At the least many will recognise that the role of free choice on the part of contracting parties has declined, and that courts may, in the interests of justice as they perceive it, sometimes impose solutions in the teeth of contracting parties' intent. But making all allowances for the necessary qualifications, I do not think it would be seriously disputed that this is the paradigm model of contract which we have inherited from nineteenth-century lawyers. Indeed, a glance at the Contract textbooks will confirm that the model is still alive and well.

The pervasiveness of this model is attested by the closely parallel set of ideas and values which underlie social and philosophical ideas about promises. The binding force of promises, the nature of promissory liability, the role of implication; the idea of a background set of conventions and practices enabling promises to be made, all these and many other topics have been the subject of much debate and discussion among moralists and philosophers. Perhaps it is not surprising that the model of promissory theory most widely adhered to among philosophers appears to correspond very closely to the model of contractual liability sketched above.

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Before proceeding further to examine the reality of this model of contract, it is worth pausing to consider some of its underlying presuppositions which are rarely made explicit.

(a) Intentions rather than actions

The first of these is that the classical model assumes that contract law is fundamentally about what parties *intend*, and not about what they *do*. Here again, of course, qualifications, and important qualifications, have to be made. It is the manifestation of intention and not actual intention that matters most; and what the parties do is obviously crucial in measuring the extent to which performance falls short of promise. Nevertheless, classical contract theory assumes that contractual obligations are created by the intention of the parties and not by their actions. The classical model is thus concerned with executory arrangements, with forward-looking planning. Contracts have a chronology, a time sequence, as can be seen by looking at the Table of Contents of any Contract textbook published in the last 100 years. They are created first, and performed (or not performed) thereafter. In this respect, of course, contractual obligations necessarily differ from those on the other side of the great divide. The law of torts, and the law of quasi-contract are concerned with what parties do. It is human action, or inaction, which creates liability in tort, or in restitution. Among other results, this means that Contract lawyers focus on a different time sequence. In tort, or in restitutionary claims, it is the causing of damage or injury on the one hand, or the rendering of benefits on the other, which is the immediate object of interest. In contract, likewise, damage or injury may be caused, or benefits rendered, but it is not these consequences, or the actions giving rise to them which are the focus of attention of the classical model. It is the intention of the parties which (it is assumed) must necessarily precede the causing of the damage or the rendering of the benefits, and which is therefore the source of the obligation. I will suggest later that this difference in the time which is the focus of attention has led, not merely to an exaggeration of the role of intentional conduct in the creation of contractual obligations, but also to a minimisation of the role of intentional conduct in the creation of other forms of obligation.

(b) Contract as thing

The second presupposition of the classical model of contract is that a contract is a thing, which has some kind of objective existence prior to any performance or any act of the parties (see Arthur Leff, "Contract as Thing", 19 Am U Law Rev 131 (1970)). Of all the examples of legal reification, none is surely more powerful than this. A contract is a thing which is "made," is "broken," is "discharged". So powerful is this reification that most lawyers see nothing odd about the notion of anticipatory repudiation, that is, about the idea that a promise can be treated as broken even before its performance is due. The tendency to reify legal concepts is, in the case of contract, given powerful impetus by the fact that so many contractual arrangements are in written form. Even today, lawyers constantly use the words "the contract" to signify both the legal relations created by the law, and the piece of paper in which those relations (or some of them) are expressed. Here again, there is a profound difference in the lawyer's way of looking at legal obligations on the other side of the great divide. A contract may be a "thing" but nobody would conceptualise a quasi-contract or a tort as a thing. One reason why the tendency to reify the concept of contract has had important results is that it has reinforced the respect for the private autonomy of the contractual relationship. If a contract is a thing created by the contracting parties, it is easier to see it as a relationship within defined and limited parameters. Within these parameters, concepts such as fairness, justice, reasonableness have far less room to operate than they do with diffuse concepts like tort or quasi-contract.

(c) The deterrent role played by the courts

The third presupposition of the classical model of contract concerns the function of the court in the enforcement of contracts. I take it as axiomatic that, in principle, the judicial process is designed to serve either or both of two important social ends. The first is, by the threat of penalties or the promise of rewards, to encourage the citizenry to comply with socially desired standards of behaviour. And the second is to provide machinery for the settlement of disputes by peaceful and fair means. Now

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the classical model of Contract with its emphasis on intentional conduct and future planning, presupposes that the first of these two goals is the primary function of the courts in dealing with contractual litigation. The purpose of [198] contract law is to encourage people to pay their debts, keep their promises and generally be truthful in their dealings with each other. The enforcement of contracts, like the protection of property and the punishment of crime, is thus perceived as important primarily for its deterrent or hortatory purpose. It is no coincidence that these were historically linked together as the essential functions of the state even by Adam Smith and the classical economists. By contrast, other parts of the law of obligations are more likely to be dominated by the dispute-settlement functions of the courts, rather than by their deterrent or hortatory functions. In the law of quasi-contract, in particular, the court is almost invariably called upon to deal with a problem by resolving a conflict of equities. Some misfire has occurred, some untoward and unplanned benefit has been rendered. Is it right that the beneficiary should pay for it, or are there grounds on which it is more just that he should be permitted to retain an unpaid for benefit? It is not generally regarded as an important function of the court to discourage (for example) people from paying debts twice over, or rendering benefits to another without ensuring that there has been an agreement to pay for them. Similarly with the modern law of torts, the importance of the deterrent function of the law has declined at the expense of the dispute-settlement function. Increasingly, the emphasis is on the function of the court in dealing with what are essentially perceived as accidents. The court must patch up a dispute, pick up the pieces after an accident, resolve a difficult conflict of equities, but the court is primarily concerned with these parties in this particular situation, and not with threatening sanctions or offering rewards to future parties. Although some lawyers would still be prepared to defend the idea that the law of negligence has a value in discouraging negligent conduct, there can be no denying the decline in the relative importance of this aspect of the law. In the ordinary running down action, in particular, it has for some years been a commonplace that the presence of third party insurance on the one hand, and of criminal sanctions on the other, have tended to make the law of torts almost exclusively concerned with compensating the plaintiff rather than deterring future defendants.

(d) A single model of contract

The fourth presupposition of the classical model of Contract is that there is indeed one model, that it is possible and useful to think still in terms of general principles of Contract. The continued vitality of our textbooks and of our university law courses on Contract attest to the faith which lawyers still have in the generalising effect of the concept of Contract. We know, of course, that most contracts fall into particular categories, which have their own rules and qualifications derogating from the general law. There are, for example, special rules applicable to contracts of employment, consumer credit contracts, consumer sales, leases, mortgages, insurance contracts, house purchase, matrimonial agreements and many others. Indeed, there are few contracts today which are not governed by specific rules which in some measure derogate from the general law. But none of this has shaken the power of the classical model of Contract. This model is, without doubt, based on an economic model, that of the free market. Historically there is every reason to believe that this classical model grew up under the influence of the classical economists and of the philosophical radicals. There is no need to subscribe to the crude and exaggerated myth that these nineteenth century thinkers wanted to reduce all relationships to economic terms, or to encourage a purely materialist approach to all human motivation. But it is true that many of them saw much in the classical contract model which they felt was both admirable and applicable far beyond the commercial sphere. They thought it desirable that men should learn to order their lives according to some definite plan, that they should be encouraged to aim for particular goals, that they should co-operate with others in attempting to seek those goals, that those who let down their fellows should be made to pay the cost of doing so; they thought it desirable that men should be free to develop their skills and ambitions, and they accepted the natural corollary that some would rise and some would sink. It was partly for these reasons (though there were certainly others too) that the classical model of Contract was so unified, and no doubt, it was partly its unity which gave it so much power.

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In the law itself, it was the nineteenth century which very largely saw the supersession of the importance of special kinds of contract by the general principles of contract. It was, of course, an Age of Principles – principles of morality, principles of political economy, principles of justice, and principles of law. When Addison published his *Treatise on Contracts* in 1847 he insisted that Contract law was not a mere collection of positive rules but was founded "upon the broad and general principles of universal law." Indeed, he went further: "The law of contracts," be wrote in his Preface, "may justly indeed be said to be a universal law adapted to all times and races, and all places and circumstances, being founded upon those great and fundamental principles of right and wrong deduced from natural reason which are immutable and eternal." Naturally, a concept of Contract which could dismiss all differences of time and place, of circumstances and people, had no need for trivial distinctions between sale and hire-purchase, mortgages and leases, commercial and consumer contracts.

3. Defects in the classical model

[2.15] It is necessary now to cast a somewhat more critical eye at this conceptual structure. How far does it stand up to more detailed examination? Is it reconcilable with the value systems of the modern world, and in particular, of modern England? Is it even reconcilable with the developments in positive law which have taken place within this conceptual framework? Is it true that contractual obligations normally arise from agreements or exchanges of promises? How far is it true to suggest that contracts are intentionally made with a view to future performance? To what extent it is correct to regard contractual liability as depending on voluntarily assumed obligations? To what extent is it possible to adhere to the very concept of a single basic model of Contract?

Let me begin with this last question.

(a) The single model of contract

If we look at the law as it is stated in the books and the case law we shall see that the concept of contract is applied in a very wide range of situations and to a very large variety of relationships. Before it is possible to construct a model even of a typical or paradigm case of contract it is necessary to have some idea of what it is that we are trying to achieve. Typical of what? Paradigm of what? Quite apart from the circular nature of the definitional problem, it is hard to understand how one is to measure the typicality of a particular relationship. If we are concerned with the most numerous types of transaction then presumably the typical contract would be the bus ride, the train journey, or the supermarket purchase. But even this is somewhat speculative and only empirical research could actually tell us what are the most commonly made transactions. Alternatively, we may be concerned with the value of the transactions we are examining. Commercial transactions are doubtless typically of greater individual value than consumer transactions; but it is unlikely that they are of greater aggregate value. And anyhow commercial transactions are so far removed from the ordinary experience of the average person that it is hard to believe a contractual model based on the commercial transaction would today have a wide and pervasive application outside the particular sphere of business. A third possibility is that the typical contract is that of which practising lawyers have the most experience. But here again there are obvious difficulties. If we are concerned with the experience of solicitors, then there can be no doubt that house purchases and mortgages are the most typical of contracts. If we are concerned with the experience of a barrister in commercial chambers, then the typical contract might be an international sale, an insurance contract, a building contract, and it would almost certainly be a contract made by business parties.

The truth is, I would suggest, that there is no such thing as a typical contract at all. Moreover, modern society has plainly rejected the values of the market outside the increasingly narrow area in which the market is permitted to operate. The classical model of Contract thus continues to exist though with increasingly little content. The principles of Contract law sometimes govern new or marginal or residuary situations, but it is hard to see in what sense they can continue to be called general principles. They remain general only by default, only because they are being superceded by detailed ad hoc rules lacking any principle.

Contracts, Promises and the Law of Obligations cont.

(b) The voluntary assumption of contractual obligations

Let me turn now to a more challenging question. To what extent is it true to say that contractual liabilities arise from agreement or promises or depend on the voluntary assumption of obligation? I want to begin by suggesting that the power of the classical model here derives largely from its stress on the executory contract. If two parties do exchange promises to carry out some performance at a future date, and if, immediately on the exchange of promises, a binding legal obligation comes at once into existence, then it seems inexorably to follow that the obligation is created by the agreement, by the intention of the parties. If they have done nothing to implement the agreement, if no actions have followed the exchange of promises, then manifestly the legal obligation cannot arise from anything except the exchange of promises. Thus far the classical model appears to be impregnable. But closer examination suggests that the area of impregnability is really rather small.

The first point to note is that wholly executory contracts are rarer, more ephemeral in practice, and somewhat less binding than the classical model of Contract would suggest. In the classical model as I have suggested, the executory transaction lies at the very heart of Contract. It is precisely because the classical model largely defines Contract in terms of executory transactions that it necessarily locates the source of contractual liability in what the parties intend rather than in what they do. But large numbers of contracts are regularly made in which the making and the performance, or at least part performance, are simultaneous or practically simultaneous events. Consider such simple transactions as the boarding of a bus, or a purchase of goods in a supermarket, or a loan of money. Is it really sensible to characterise these transactions as agreements or exchanges of promises? Is it meaningful or useful to claim that a person who boards a bus is promising to pay his fare? If so, would it not be just as meaningful to say that when he descends from the bus and crosses the road he promises to cross with all due care for the safety of other road users? I do not, of course, deny that all these transactions involve some element of voluntary conduct. People do not generally board buses, buy goods in a supermarket, or borrow money in their sleep. But they involve much else besides voluntary conduct. They usually involve the rendering of some benefit, or actions of detrimental reliance, or both. A person who is carried by a bus from point A to point B after voluntarily boarding the bus can normally be presumed to have derived some benefit from the arrangements. Does his liability to pay his fare have nothing to do with this element of benefit? A person who borrows money and actually receives the loan is, according to the classical model of Contract, liable to repay the money merely because he promised to repay it. The fact that he received the money appears to be largely irrelevant. It is not, indeed, wholly irrelevant in law, because of the doctrine of consideration, but in the classical model it is the intention or agreement or promise which is the source of the liability and not the consideration. The consideration is either a historical anachronism, a meaningless technicality, or if it has any rational function at all today, it is merely to provide evidence of the seriousness of a promise. Thus a person who borrows £100 is liable to repay it because he has promised; the actual receipt of the money is merely evidence of the seriousness of the promise.

(c) The importance of benefits rendered and detrimental reliance

If we look at a normative system not encumbered by the doctrine of consideration – say the moral basis of promissory liability – the position is even more starkly clear. An obligation to perform a promise to pay £100 is generally considered to be precisely the same whether the promise is to make a gift or to repay a loan. Since the basis of the obligation lies in the promise in both cases it makes not a particle of difference that in the former case the promisor receives nothing for his money, while in the latter case he has already received full value. Is it not evident that there is some grotesque distortion here?

Consider next the possibility of detrimental reliance by the promisee. Is it not manifest that a person who has actually worsened his position by reliance on a promise has a more powerful case for redress than one who has not acted in reliance on the promise at all? A person who has not relied on a promise (nor paid for it) may suffer a disappointment of his expectations, but he does not actually suffer a pecuniary loss. The disappointment of an expectation may of course be treated as a species of loss by definition, as indeed, the law generally does treat it, if the expectation derives from Contract.

Contracts, Promises and the Law of Obligations cont.

But no definitional jugglery can actually equate the position of the party who suffers a diminution of his assets in reliance on a promise, and a person who suffers no such diminution.

But this is not all, for both in morality and in law the rendering of benefits and actions of detrimental reliance can give rise to obligations even where there was no promise at all. The law of quasi-contract is almost entirely concerned with situations in which one party is entitled to recompense for a benefit rendered to another even though the latter made no promise to pay for it. The rendering of a benefit is thus in some cases a sufficient ground for liability even without an agreement or promise to repay. Of course, the law of quasi-contract has "nothing at all" to do with the law of Contract, as classical contract theory tells us. But that is itself, as I shall suggest later, an idea which is quite unacceptable, both historically and analytically. And if the law of quasi-contracts concerns liability for the restitution of uncovenanted benefits, the law of torts and the law of trusts frequently provide redress for acts of reliance performed in the absence of an express promise. Moreover, the law of Contract itself, together with associated parts of the law sometimes characterised as distinct sets of rules, provide many examples of provisions plainly designed for the protection of acts of reasonable reliance, rather than for the imposition of promissory liability. The law of misrepresentations, of warranty, of estoppel and promissory estoppel, no matter how they are conceptualised, provide many illustrations of what can only be rationally regarded as reliance-based liability.

(d) The use of objective tests

And so far I have said nothing about one of the most obvious bodies of legal doctrine which is not easy to reconcile with the theory that contractual and promissory obligations rest on voluntary obligation. I refer, of course, to the so-called "objective-test" theory of contractual liability. Every law student is taught from his earliest days that contractual intent is not really what it seems; actual subjective intent is normally irrelevant. It is the appearance, the manifestation of intent that matters. Whenever a person is held bound by a promise or a contract contrary to his actual intent or understanding, it is plain that the liability is based not on some notion of a voluntary assumption of obligation, but on something else. And most frequently it will be found that that something else is the element of reasonable reliance. One party relies on a reasonable construction of an offer, or he accepts an offer, reasonably thinking it is still open when the offeror has revoked it but failed to communicate his revocation. All this is standard stuff but I suggest that cases of this type have for too long been regarded as of marginal importance only, as not affecting the fundamental basis and theory of liability. In a simple world of simple promises and contracts this might have been an acceptable perspective. But the arrival of written contracts and above all the standard printed form has surely rendered this approach much less defensible. A party who signs an elaborate printed document is almost invariably held bound by it not because of anything he intended; he is bound in the teeth of his intention and understandings except in some very exceptional cases of fraud and the like. The truth is he is bound not so much because of what he intends but because of what he does. Like the man who is bound to pay his fare because he boards a bus, the man who signs a written contract is liable because of what he does rather than what he intends. And he is liable because of what he does for the good reason that other parties are likely to rely upon what he does in ways which are reasonable and even necessary by the standards of our society.

What I suggest then, is that whenever benefits are rendered, wherever acts of reasonable reliance take place, obligations may arise, both morally and in law. These obligations are by no means confined to cases where explicit promises are given, for they may arise in cases where we would imply a promise, but they also arise in many cases where any attempt to imply a promise would be nothing but a bare fiction. The man who boards a bus without any intention of paying his fare is bound to pay it though it is difficult to see what reality there can be in claiming he impliedly promises to pay. The man who signs a document without reading it does not make an implied promise any more than an express promise in any genuine sense.

…

Contracts, Promises and the Law of Obligations cont.

4. Rethinking the Law of Obligations

[2.20] These arguments, of course, require much greater development than I can give them here; but enough has been said to show that, if they stand up to further examination, they should suffice to dethrone the executory contract from the central place which it occupies in Contract theory. The consequences of this would be to require some drastic redrawing of the lines of the conceptual structure of contractual and promissory obligation. In the first place, the distinction between contract and quasi-contract would surely come crashing to the ground. This distinction was not anyhow indigenous to English law. It is well known that until the middle of the nineteenth century at least, the common lawyers distinguished between express and implied contracts not between contracts and quasi-contracts. To the early common lawyers, the important point in common between express and implied contracts was that both usually involved a claim for payment or reimbursement for a benefit which had been conferred by the plaintiff on the defendant. Whether the defendant had promised to pay for that benefit was a secondary question. In the nineteenth century, when the executory contract became the pivotal key to the law of obligations, when will theory flourished, and when, we may add, renewed study of the classics reminded common lawyers of the Roman law distinctions and terminology, the old common law distinction fell into disrepute. The process began with academics and writers like John Austin, Henry Maine and Martin Leake. Will theory, which emphasised the importance of free choice and the voluntary creation of obligations was plainly inconsistent with the indigenous common law. The newer ideas got into the books and after the lapse of a couple of generations into the Law Reports. They passed into orthodoxy. Everybody began to say that quasi-contracts had nothing to do with contracts. I am afraid that I said it myself. The Contract textbooks expelled the subject. Universities even began to run separate courses on the Law of Restitution.

Plainly, if the part-executed contract is to replace the executory contract as the centrepiece of Contract theory, we shall have to turn our back on these exciting new ideas. We may then discover that, far from being new, they derive from the intellectual climate of the early nineteenth century. Free choice in all things, rational planning, calculated risk assessment, and the severest limitation of the active role of State and judge, these are the themes which underlie the distinction between contract and quasi-contract. It is scarcely necessary to add that they are the themes of the last century.

A similar fate may well await the distinction between Contract and Tort when once the executory contract is removed from the central place in the law of obligations. I have already suggested that our nineteenth century heritage has led us to place undue emphasis on the extent to which contractual obligations depend upon intentions and the voluntary assumption of liability. But is it not equally true that, perhaps by way of reaction, Tort theory has swung too far in the opposite direction? In their reaction away from Contract, lawyers and judges have tended to stress the positive nature of tortious liability. Tort duties are imposed by law, not assumed by the parties. They are the reflection of society's standards of fairness and reasonableness and not the result of deliberate submission to a mutual binding arrangement, and so on. I want to suggest that all this has tended to draw far too sharp a line between Contract and Tort. It is not true that consent, intention, voluntary conduct is irrelevant to tort liabilities. The modern law of negligence is, in many respects, an offshoot of nineteenth century Contract law. Historically, the tort of negligence which dominates modern Tort law, grew almost entirely out of contractual-type arrangements. Personal injury actions brought against occupiers of premises, against employers, against railway companies were the forerunners of the modern running down case. The road accident between strangers was not the typical tort action of the last century. And even today it remains true that nearly all tort liabilities arise in the course of the performance of voluntary actions. A person who negligently injures another while driving his car is voluntarily on the road, voluntarily driving his car, and may be said to submit himself to the requirements of the law with as much or as little truth as the seller of goods. The liability of the bus company to pedestrians or other road users does not, in this perspective, differ significantly from its liability to passengers inside the bus. In both cases, I suggest, liability arises primarily from what is voluntarily done, from the element of reciprocal benefit and from the fact of reliance. It is, of course, true that the sharp distinctions drawn by the law between tortious and contractual liability have, over the years, led to various accretions of positive law.

In particular, contractual liability is often stricter than tortious liability. The seller of defective goods is liable even without proof of negligence for any injury caused by the goods to someone who can claim that he has contracted to buy them. But this distinction is, in a way, an illustration of the theme I am attempting to state. For here too, lawyers and reformers are rejecting the traditional approach. Most lawyers would today prefer to decide what the obligations of a vendor of goods should be, and would then construe his behaviour to support those obligations. Thus if it is thought, as it widely is, that a vendor of defective goods should be strictly liable to anyone who uses the goods and not only to those who buy the goods, the vendor can be said to give an implied warranty that his goods will be safe. But this implied warranty does not necessarily mean that the vendor is thought to voluntarily accept that liability; he voluntarily sells the goods, and the liability is imposed upon him. If we ask, further, why the obligations should be imposed, we will find, in most cases, that the twin elements of benefit and detriment underlie the judgment. In this particular case, for instance, it would be widely agreed that the vendor gets the benefit of the sale, that the purchaser or user relies upon him to distribute goods which are not dangerous, and that these two factors, together with the fact that the sale is a voluntary transaction, suffice to justify the obligation.

It is worth considering another example, where tort law is concerned primarily with the waiver or reduction of legal obligations, rather than its creation. The liability of a car driver to a passenger has, both in this country, and still more overseas, given rise to many shifts and devices for restricting the application of the normal rules of negligence. Whether this has been done by the former legislative exemption from carrying insurance to cover liability to passengers, or by invocation of the maxim volenti non fit injuria, or by denial of a duty of care, or by restricting liability to cases of gross negligence, it is surely not far-fetched to see the benefit to the passenger at the heart of the problem. The passenger who is a mere guest (as opposed to the fare-paying passenger) is deriving a gratuitous benefit from being carried in the vehicle. Is it right that he should be permitted to look this gift-horse in the mouth and sue the driver in the event of injury in an accident? The fact that an emphatic affirmative has, at least in this country, now been given to this question, does not, I think, detract from the value of this illustration.

I do not, of course, want to suggest that the whole law of obligations can be rewritten in terms of a few simple principles drawn from the notions of benefit and reliance. Society and social and economic relationships are too complex in the modern industrial world for oversimplifications of this nature. But what I do want to suggest is that the great divide between duties which are voluntarily assumed, and duties which are imposed by law is itself one of these oversimplifications. A more adequate and more unifying conceptual structure for the law of obligations can be built around the interrelationship between the concepts of reciprocal benefits, acts of reasonable reliance, and voluntary human conduct.

[2.25] Notes

1. The headings in this extract were added by the casebook editors.
2. PS Atiyah explored a number of themes from this essay in greater detail in his influential book, *The Rise and Fall of Freedom of Contract* (1999).
3. For an example of a modern Australian case in which the behaviour of the parties and concepts of benefit and reliance appeared to play a more significant role than the intentions of the parties, see *Empirnall Holdings Pty Ltd v Machon Paull Pty Ltd* (1988) 14 NSWLR 523 at [3.125].

PART II

FORMATION

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CHAPTER **3**

Agreement

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[3.05] It is generally accepted that four essential elements are necessary for contract formation: agreement, consideration, certainty and an intention to create legal relations. This chapter is concerned with the first of those elements. The existence of an agreement between the parties is usually analysed through the rules of offer and acceptance. These rules may be useful in determining whether or not the parties have reached agreement, when and where that agreement was made and on what terms. However, the rules of offer and acceptance are merely "an aid to analysis" (Greig and Davis, *The Law of Contract* (1987), p 246). They sometimes prove inconclusive or artificial. A contract can be made without an identifiable offer and acceptance, provided the parties have manifested their mutual assent.

The "acid test" in a case where offer and acceptance cannot be identified, according to Cooke J in *Meates v Attorney-General* [1983] NZLR 308, 377, "is whether, viewed as a whole and objectively from the point of view of reasonable persons on both sides, the dealings show a concluded bargain". The authorities on this point are reviewed by Heydon JA in *Brambles Holdings Ltd v Bathurst City Council* [2001] NSWCA 61; (2001) 53 NSWLR 153, extracted at [3.130]. Heydon JA concluded (at 179) that, in light of those authorities, in circumstances where the traditional approach cannot be applied it is relevant to ask:

- whether in all the circumstances an agreement can be inferred;
- whether mutual assent has been manifested; and
- whether a reasonable person in the position of each of the parties would think there was a concluded bargain.

OFFER

[3.10] "An offer is the manifestation of willingness to enter into a bargain, so made as to justify another person in understanding that his assent to that bargain is invited and will conclude it." (*Restatement (Second) of Contracts*, §24, American Law Institute, 1981).

Gibson v Manchester City Council

[3.15] *Gibson v Manchester City Council* [1979] 1 WLR 294 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: In 1970, Manchester City Council, then controlled by the Conservative Party, adopted a scheme allowing tenants of council housing to purchase the freehold title to their homes. In furtherance of the scheme, the Council wrote a standard form letter to Robert Gibson in relation to the Council house he was renting. The letter said that the Council "may be prepared to sell the house to you" at a nominated purchase price and asked Gibson to complete an application form if he wished to make formal application to buy the house. Gibson completed an application form (leaving the purchase price blank) and returned it to the Council. Before formal contracts were prepared, local government elections were held in which control of the Council passed to the Labour Party. The Council then resolved to abandon the scheme and to complete only those sales for which a binding contract had been concluded. The Council denied that there was a binding contract with Gibson. Gibson claimed that a contract had come into existence, and sued to enforce it. The trial judge held that there had been an offer and acceptance, and so a binding contract had arisen. He ordered specific performance. The Council's appeal to the Court of Appeal was dismissed. The Council then appealed the House of Lords, using this as a test case to determine the status of arrangements with hundreds of tenants in a similar position to Gibson.]

LORD DIPLOCK [295] My Lords, this is an action for specific performance of what is claimed to be a contract for the sale of land. The only question in the appeal is of a kind with which the courts are very familiar. It is whether in the correspondence between the parties there can be found a legally enforceable contract for the sale by the Manchester Corporation to Mr Gibson of the dwelling house of which he was the occupying tenant at the relevant time in 1971. That question is one that, in my view, can be answered by applying to the particular documents relied upon by Mr Gibson as constituting the contract, well-[296]settled, indeed elementary, principles of English law …. The two documents principally relied upon by Mr Gibson were in standard forms used by the corporation in dealing with applications from tenants of council houses to purchase the freehold of their homes under a scheme that had been adopted by the council … [and later] abandoned …. [T]he only contract that is alleged is one made by letters accompanying documents passing between the parties. The outcome of this appeal depends upon their true construction.

In the Manchester County Court where the action started, the case was pleaded in the conventional way. The particulars of claim alleged an offer in writing by the corporation to sell the freehold interest in the house to Mr Gibson at a price of £2,180 and an acceptance in writing of that offer by Mr Gibson. The judge (Judge Bailey) followed the same conventional approach to the question that fell to be decided. He looked to see whether there was an offer of sale and an acceptance. He held that, upon their true construction, the documents relied upon as such in the particulars of claim did amount to an offer and an acceptance respectively and so constituted a legally enforceable contract. He ordered specific performance of an open contract for the sale to Mr Gibson of the freehold interest in the house at the price of £2,180.

The corporation's appeal against this judgment was dismissed by a majority of the Court of Appeal (Lord Denning MR and Ormrod LJ); Geoffrey Lane LJ dissented. Lord Denning MR rejected what I have described as the conventional approach of looking to see whether upon the true construction of the documents relied upon there can be discerned an offer and acceptance. One ought, he said ([1978] 1 WLR 520 at 523H) to "look at the correspondence as a whole and at the conduct of the parties and see therefrom whether the parties have come to an agreement on everything that was material." This

Gibson v Manchester City Council cont.

approach … led him however to the conclusion that there should be imported into the agreement to be specifically performed additional conditions, against use except as a private dwelling house and against advertising and a restriction not to sell or lease the property for five years. These are conditions which would not be implied by law in an [297] open contract for the sale of land. The reason for so varying the judge's order was that clauses in these terms were included in the standard form of "Agreement for Sale of a Council House" which … was entered into by the corporation and council tenants whose applications to purchase the freehold of their council house reached the stage at which contracts were exchanged. There was, however, no reference to this standard form of agreement in any of the documents said to constitute the contract relied on in the instant case, nor was there any evidence that Mr Gibson had knowledge of its terms at or before the time that the alleged contract was concluded.

Ormrod LJ, who agreed with Lord Denning MR, adopted a similar approach …

Geoffrey Lane LJ in a dissenting judgment, which for my part I find convincing, adopted the conventional approach. He found that upon the true construction of the documents relied upon as constituting the contract, there never was an offer by the corporation acceptance of which by Mr Gibson was capable in law of constituting a legally enforceable contract. It was but a step in the negotiations for a contract which, owing to the change in the political complexion of the council, never reached fruition.

My Lords, there may be certain types of contract, though I think they are exceptional, which do not fit easily into the normal analysis of a contract as being constituted by offer and acceptance; but a contract alleged to have been made by an exchange of correspondence between the parties in which the successive communications other than the first are in reply to one another, is not one of these. I can see no reason in the instant case for departing from the conventional approach of looking at the handful of documents relied upon as constituting the contract sued upon and seeing whether upon their true construction there is to be found in them a contractual offer by the corporation to sell the house to Mr Gibson and an acceptance of that offer by Mr Gibson. I venture to think that it was by departing from this conventional approach that the majority of the Court of Appeal was led into error.

The genesis of the relevant negotiations in the instant case is a form filled in by Mr Gibson on 28 November 1970, inquiring what would be the price of buying his council house … and expressing his interest in obtaining a mortgage from the corporation. The form was a detachable part of a brochure which had been circulated by the corporation to tenants who had previously expressed an interest in buying their houses. It contained details of a new scheme for selling council houses that had been recently adopted by the council. The scheme provided for a sale at market value less a discount dependent on the length of time the purchaser had been a council tenant. This, in the case of Mr Gibson, would have amounted to 20 per cent. The scheme also provided for the provision by the corporation of advances upon mortgage which might amount to as much as the whole of the purchase price.

As a result of that inquiry Mr Gibson's house was inspected by the corporation's valuer and on 10 February, 1971, the letter which is relied upon by Mr Gibson as the offer by the corporation to sell the house to him was sent from the City Treasurer's Department. It was in the following terms: [298]

> Dear Sir,
>
> Purchase of council house
>
> *Your Reference Number 82463 03*
>
> I refer to your request for details of the cost of buying your council house. *The corporation may be prepared to sell the house to you at the purchase price of £2,725 less 20 per cent = £2,180 (freehold)* …
>
> Maximum mortgage the corporation may grant: £2,177 repayable over 20 years. Annual fire insurance premium: £2.45

Gibson v Manchester City Council cont.

> Monthly repayment charge, calculated by:
>
> (i) flat rate repayment method £19.02
>
> If you wish to pay off some of the purchase price at the start and therefore require a mortgage for less than the amount quoted above, the monthly instalment will change; in these circumstances, I will supply new figures on request. The above repayment figures apply so long as the interest rate charged on home loans is 8.5 per cent. The interest rate will be subject to variation by the corporation after giving not less than three months' written notice, and if it changes, there will be an adjustment to the monthly instalment payable. This letter should not be regarded as firm offer of a mortgage.
>
> *If you would like to make formal application to buy your council house, please complete the enclosed application form and return it to me as soon as possible.*
>
> Yours faithfully,
>
> (Sgd) H R PAGE
>
> CITY TREASURER …

My Lords, the words I have italicised seem to me, as they seemed to Geoffrey Lane LJ, to make it quite impossible to construe this letter as a contractual offer capable of being converted into a legally enforceable open contract for the sale of land by Mr Gibson's written acceptance of it. The words "may be prepared to sell" are fatal to this; so is the invitation, not, be it noted, to accept the offer, but "to make formal application to buy" upon the enclosed application form. It is, to quote Geoffrey Lane LJ, a letter setting out the financial terms on which it may be the council will be prepared to consider a sale and purchase in due course.

Both Ormrod LJ and the judge in the County Court reaching the conclusion that this letter was a firm offer to sell the freehold interest in the house for £2,180, attached importance to the fact that the second paragraph, dealing with the financial details of the mortgage of which Mr Gibson had asked for particulars, stated expressly: "This letter should not be regarded as a firm offer of a mortgage." The necessary implication from this, it is suggested, is that the first paragraph of the letter *is* to be regarded as a firm offer to sell despite the fact that this is plainly inconsistent with the express language of that paragraph. My Lords, with great respect, this surely must be fallacious. If the final sentence had been omitted the wording of the second paragraph, unlike that of the first, with its use of the indicative mood in such expressions as "the interest rate will change", might have been understood by council tenants to whom it was addressed as indicating a firm offer of a mortgage of the amount and on the terms for repayment stated if the council were prepared to sell the house at the stated price. But whether or not this be the explanation of [299] the presence of the last sentence in para 2, it cannot possibly affect the plain meaning of the words used in para 1.

Mr Gibson did fill in the application form enclosed with this letter. It was in three sections: s A headed "Application to buy a council house", s B "Application for a loan to buy a council house" and s C "Certificate to be completed by all applicants." He left blank the space for the purchase price in s A and sent the form to the corporation on 5 March 1971, with a covering letter in which he requested the corporation either to undertake at their own expense to carry out repairs to the tarmac path forming part of the premises or to make a deduction from the purchase price to cover the cost of repairs. The letter also intimated that Mr Gibson would like to make a down payment of £500 towards the purchase price instead of borrowing the whole amount on mortgage. In reply to the request made in this letter the corporation, by letter of 12 March 1971, said that the condition of the property had been taken into consideration in fixing the purchase price and that repairs to the tarmac by the corporation could not be authorised at this stage. This letter was acknowledged by Mr Gibson by his letter to the corporation of 18 March 1971, in which he asked the corporation to "carry on with the purchase as per my application already in your possession".

My Lords, the application form and letter of 18 March 1971, were relied on by Mr Gibson as an unconditional acceptance of the corporation's offer to sell the house; but this cannot be so unless

Gibson v Manchester City Council cont.

there was a contractual offer by the corporation available for acceptance, and, for the reason already given I am of opinion that there was none. It is unnecessary to consider whether the application form and Mr Gibson's letters of 3 and 18 March 1971, are capable of amounting to a contractual offer by him to purchase the freehold interest in the house at a price of £2,180 on the terms of an open contract, for there is no suggestion that, even if it were, it was ever accepted by the corporation. Nor would it ever have been even if there had been no [abandonment of the scheme] as the policy of the corporation before the change required the incorporation in all agreements for sale of council houses to tenants of the conditions referred to by Lord Denning MR in his judgment and other conditions inconsistent with an open contract.

I therefore feel compelled to allow the appeal. One can sympathise with Mr Gibson's disappointment on finding that his expectations that he would be able to buy his council house at 20 per cent below its market value in the autumn of 1970 cannot be realised. Whether one thinks this makes it a hard case perhaps depends upon the political views that one holds about council housing policy. But hard cases offer a strong temptation to let them have their proverbial consequences. It is a temptation that the judicial mind must be vigilant to resist.

[Lord Edmund-Davies and Lord Russell of Killowen in separate judgments agreed that the appeal be allowed. Lord Fraser of Tullybelton agreed with Lord Diplock and Lord Russell. Lord Keith of Kinkel agreed with Lord Diplock.]

Appeal allowed.

[3.20] **Note**

In the preceding extract, Lord Diplock refers to the possibility of exceptional types of contracts which do not "fit easily into the normal analysis of offer and acceptance". On this issue, see further *Brambles Holdings Ltd v Bathurst City Council* [2001] NSWCA 61; (2001) 53 NSWLR 153, at [3.130].

Carlill v Carbolic Smoke Ball Company

[3.25] *Carlill v Carbolic Smoke Ball Company* [1893] 1 QB 256 (Court of Appeal) – Appeal from Hawkins J.

[FACTS: The defendants manufactured a device called a "Carbolic Smoke Ball", which was claimed to prevent colds and influenza. They placed the following advertisement in a number of newspapers, including the *Pall Mall Gazette* of 13 November 1891:

> £100 reward will be paid by the Carbolic Smoke Ball Company to any person who contracts the increasing epidemic influenza, colds, or any disease caused by taking cold, after having used the ball three times daily for two weeks according to the printed directions supplied with each ball. £1 000 is deposited with the Alliance Bank, Regent Street, shewing our sincerity in the matter.
>
> During the last epidemic of influenza many thousand carbolic smoke balls were sold as preventives against this disease, and in no ascertained case was the disease contracted by those using the carbolic smoke ball.
>
> One carbolic smoke ball will last a family several months, making it the cheapest remedy in the world at the price, 10s, post free. The ball can be refilled at a cost of 5s. Address, Carbolic Smoke Ball Company, 27 Princes Street, Hanover Square, London.

Carlill v Carbolic Smoke Ball Company cont.

The plaintiff purchased a smoke ball from a chemist on the faith of the advertisement and used it in accordance with the manufacturer's directions from 20 November 1891 until 17 January 1892, when she contracted influenza. The trial judge held that the plaintiff was entitled to recover the £100. The defendant appealed.]

LINDLEY LJ: [261] The first observation I will make is that we are not dealing with any inference of fact. We are dealing with an express promise to pay £100 in certain events. Read the advertisement how you will, and twist it about as you will, here is a distinct promise expressed in language which is perfectly unmistakable: "£100 reward will be paid by the Carbolic Smoke Ball Company to any person who contracts the influenza after having used the ball three times daily for two weeks according to the printed directions supplied with each ball."

We must first consider whether this was intended to be a promise at all, or whether it was a mere puff which meant nothing. Was it a mere puff? My answer to that question is "No", and I base my answer upon this passage: "£1 000 is deposited with the Alliance Bank, shewing our sincerity in the matter."

Now, for what was that money deposited or that statement made except to negative the suggestion that this was a mere puff and meant nothing at all? The deposit is called in [262] aid by the advertiser as proof of his sincerity in the matter – that is, the sincerity of his promise to pay this £100 in the event which he has specified. I say this for the purpose of giving point to the observation that we are not inferring a promise; there is the promise, as plain as words can make it.

Then it is contended that it is not binding. In the first place, it is said that it is not made with anybody in particular. Now that point is common to the words of this advertisement and to the words of all other advertisements offering rewards. They are offers to anybody who performs the conditions named in the advertisement, and anybody who does perform the condition accepts the offer. In point of law this advertisement is an offer to pay £100 to anybody who will perform these conditions, and the performance of the conditions is the acceptance of the offer. That rests upon a string of authorities, the earliest of which is *Williams v Carwardine* (1833) 4 B & Ad 621; 110 ER 590, which has been followed by many other decisions upon advertisements offering rewards.

But then it is said: "Supposing that the performance of the conditions is an acceptance of the offer, that acceptance ought to have been notified."

Unquestionably, as a general proposition, when an offer is made, it is necessary in order to make a binding contract, not only that it should be accepted, but that the acceptance should be notified. But is that so in cases of this kind? I apprehend that they are an exception to that rule, or, if not an exception, they are open to the observation that the notification of the acceptance need not precede the performance. This offer is a continuing offer. It was never revoked, and if notice of acceptance is required – which I doubt very much, for I rather think the true view is that which was expressed and explained by Lord Blackburn in the case of *Brogden v Metropolitan Ry Co* (1877) 2 App Cas 666 at 692 – if notice of acceptance is required, the person who makes the offer gets the notice of acceptance contemporaneously with his notice of performance of the condition. If he gets notice of the acceptance before his offer is revoked, that in principle is all you want. I, however, think that the true view, in a case of this kind, is that the person who makes the offer shews by his language and from the nature of the transaction that he [263] does not expect and does not require notice of the acceptance apart from notice of the performance.

We, therefore, find here all the elements which are necessary to form a binding contract enforceable in point of law, subject to two observations. First of all it is said that this advertisement is so vague that you cannot really construe it as a promise – that the vagueness of the language shews that a legal promise was never intended or contemplated. The language is vague and uncertain in some respects, and particularly in this, that the £100 is to be paid to any person who contracts the increasing epidemic after having used the balls three times daily for two weeks. It is said, When are they to be used? According to the language of the advertisement no time is fixed, and,

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construing the offer most strongly against the person who has made it, one might infer that any time was meant. I do not think that was meant, and to hold the contrary would be pushing too far the doctrine of taking language most strongly against the person using it. I do not think that business people or reasonable people would understand the words as meaning that if you took a smoke ball and used it three times daily for two weeks you were to be guaranteed against influenza for the rest of your life, and I think it would be pushing the language of the advertisement too far to construe it as meaning that. But if it does not mean that, what does it mean? It is for the defendants to shew what it does mean; and it strikes me that there are two, and possibly three, reasonable constructions to be put on this advertisement, any one of which will answer the purpose of the plaintiff. Possibly it may be limited to persons catching the "increasing epidemic" (that is, the then prevailing epidemic), or any colds or diseases caused by taking cold, during the prevalence of the increasing epidemic. That is one suggestion; but it does not commend itself to me. Another suggested meaning is that you are warranted free from catching this epidemic, or colds or other diseases caused by taking cold, whilst you are using this remedy after using it for two weeks. If that is the meaning, the plaintiff is right, for she used the remedy for two weeks and went on using it till she got the epidemic. Another meaning, and the one which I rather prefer, is that the reward is offered to [264] any person who contracts the epidemic or other disease within a reasonable time after having used the smoke ball. Then it is asked, What is a reasonable time? It has been suggested that there is no standard of reasonableness; that it depends upon the reasonable time for a germ to develop! I do not feel pressed by that. It strikes me that a reasonable time may be ascertained in a business sense and in a sense satisfactory to a lawyer, in this way; find out from a chemist what the ingredients are; find out from a skilled physician how long the effect of such ingredients on the system could be reasonably expected to endure so as to protect a person from an epidemic or cold, and in that way you will get a standard to be laid before a jury, or a judge without a jury, by which they might exercise their judgment as to what a reasonable time would be. It strikes me, I confess, that the true construction of this advertisement is that £100 will be paid to anybody who uses this smoke ball three times daily for two weeks according to the printed directions, and who gets the influenza or cold or other diseases caused by taking cold within a reasonable time after so using it; and if that is the true construction, it is enough for the plaintiff.

I come now to the last point which I think requires attention – that is, the consideration. It has been argued that this is nudum pactum; that there is no consideration. We must apply to that argument the usual legal tests. Let us see whether there is no advantage to the defendants. It is said that the use of the ball is no advantage to them, and that what benefits them is the sale; and the case is put that a lot of these balls might be stolen, and that it would be no advantage to the defendants if the thief or other people used them. The answer to that, I think, is as follows. It is quite obvious that in the view of the advertisers a use by the public of their remedy, if they can only get the public to have confidence enough to use it, will react and produce a sale which is directly beneficial to them. Therefore, the advertisers get out of the use an advantage which is enough to constitute a consideration.

But there is another view. Does not the person who acts upon this advertisement and accepts the offer put himself to some inconvenience at the request of the defendants? Is it nothing [265] to use this ball three times daily for two weeks according to the directions at the request of the advertiser? Is that to go for nothing? It appears to me that there is a distinct inconvenience, not to say a detriment, to any person who so uses the smoke ball. I am of opinion, therefore, that there is ample consideration for the promise …

It appears to me, therefore, that the defendants must perform their promise, and, if they have been so unwary as to expose themselves to a great many actions, so much the worse for them.

[3.30] BOWEN LJ: I am of the same opinion. We were asked to say that this document was a contract too vague to be enforced.

The first observation which arises is that the document itself is not a contract at all, it is only an offer made to the public.

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[266] The defendants contend next, that it is an offer the terms of which are too vague to be treated as a definite offer, inasmuch as there is no limit of time fixed for the catching of the influenza, and it cannot be supposed that the advertisers seriously meant to promise to pay money to every person who catches the influenza at any time after the inhaling of the smoke ball … It seems to me that in order to arrive at a right conclusion we must read this advertisement in its plain meaning, as the public would understand it. It was intended to be issued to the public and to be read by the public. How would any ordinary person reading this document construe it? It was intended unquestionably to have some effect, and I think the effect which it was intended to have, was to make people use the smoke ball, because the suggestions and allegations which it contains are directed immediately to the use of the smoke ball as distinct from the purchase of it … It is written in colloquial and popular language, and I think that it is equivalent to this: "£100 will be paid to any person who shall contract the increasing epidemic after having used the carbolic smoke ball three times daily for two weeks."

And it seems to me that the way in which the public would read it would be this, that if anybody, after the advertisement was published, used three times daily for two weeks the carbolic smoke ball, and then caught cold, he would be entitled to the reward. Then again it was said: "How long is this protection to endure? Is it to go on for ever, or for what limit of time?"

[267] I think that there are two constructions of this document, each of which is good sense, and each of which seems to me to satisfy the exigencies of the present action. It may mean that the protection is warranted to last during the epidemic, and it was during the epidemic that the plaintiff contracted the disease. I think, more probably, it means that the smoke ball will be a protection while it is in use. That seems to me the way in which an ordinary person would understand an advertisement about medicine, and about a specific against influenza … My brother, the Lord Justice who preceded me, thinks that the contract would be [268] sufficiently definite if you were to read it in the sense that the protection was to be warranted during a reasonable period after use. I have some difficulty myself on that point; but it is not necessary for me to consider it further, because the disease here was contracted during the use of the carbolic smoke ball …

It was also said that the contract is made with all the world – that is, with everybody; and that you cannot contract with everybody. It is not a contract made with all the world. There is the fallacy of the argument. It is an offer made to all the world; and why should not an offer be made to all the world which is to ripen into a contract with anybody who comes forward and performs the condition? It is an offer to become liable to any one who, before it is retracted, performs the condition, and, although the offer is made to the world, the contract is made with that limited portion of the public who come forward and perform the condition on the faith of the advertisement. It is not like cases in which you offer to negotiate, or you issue advertisements that you have got a stock of books to sell, or houses to let, in which case there is no offer to be bound by any contract. Such advertisements are offers to negotiate – offers to receive offers – offers to chaffer, as, I think, some learned judge in one of the cases has said. If this is an offer to be bound, then it is a contract the moment the person fulfils the condition …

[269] Then it was said that there was no notification of the acceptance of the contract. One cannot doubt that, as an ordinary rule of law, an acceptance of an offer made ought to be notified to the person who makes the offer, in order that the two minds may come together. Unless this is done the two minds may be apart, and there is not that consensus which is necessary according to the English law – I say nothing about the laws of other countries – to make a contract. But there is this clear gloss to be made upon that doctrine, that as notification of acceptance is required for the benefit of the person who makes the offer, the person who makes the offer may dispense with notice to himself if he thinks it desirable to do so, and I suppose there can be no doubt that where a person in an offer made by him to another person, expressly or impliedly intimates a particular mode of acceptance as sufficient to make the bargain binding, it is only necessary for the other person to whom such offer is

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made to follow the indicated method of acceptance; and if the person making the offer, expressly or impliedly intimates in his offer that it will be sufficient to act on the proposal without communicating [270] acceptance of it to himself, performance of the condition is a sufficient acceptance without notification …

Now, if that is the law, how are we to find out whether the person who makes the offer does intimate that notification of acceptance will not be necessary in order to constitute a binding bargain? In many cases you look to the offer itself. In many cases you extract from the character of the transaction that notification is not required, and in the advertisement cases it seems to me to follow as an inference to be drawn from the transaction itself that a person is not to notify his acceptance of the offer before he performs the condition, but that if he performs the condition notification is dispensed with.

It seems to me that from the point of view of common sense no other idea could be entertained. If I advertise to the world that my dog is lost, and that anybody who brings the dog to a particular place will be paid some money, are all the police or other persons whose business it is to find lost dogs to be expected to sit down and write me a note saying that they have accepted my proposal? Why, of course, they at once look after the dog, and as soon as they find the dog they have performed the condition. The essence of the transaction is that the dog should be found, and it is not necessary under such circumstances, as it seems to me, that in order to make the contract binding there should be any notification of acceptance. It follows from the nature of the thing that the performance of the condition is sufficient acceptance without the notification of it, and a person who makes an offer in an advertisement of that kind makes an offer which must be read by the light of that common sense reflection. He does, therefore, in his offer impliedly indicate that he does not require notification of the acceptance of the offer.

A further argument for the defendants was that this was a [271] nudum pactum – that there was no consideration for the promise – that taking the influenza was only a condition, and that the using the smoke ball was only a condition, and that there was no consideration at all; in fact, that there was no request, express or implied, to use the smoke ball … The short answer, to abstain from academical discussion, is, it seems to me, that there is here a request to use involved in the offer. Then as to the alleged want of consideration. The definition of "consideration" given in *Selwyn's Nisi Prius* (8th ed), p 47, which is cited and adopted by Tindal CJ, in the case *Laythoarp v Bryant* (1836) 2 Bing (NC) 735; 132 ER 283, is this:

> Any act of the plaintiff from which the defendant derives a benefit or advantage, or any labour, detriment, or inconvenience sustained by the plaintiff, provided such act is performed or such inconvenience suffered by the plaintiff, with the consent, either express or implied, of the defendant.

Can it be said here that if the person who reads this advertisement applies thrice daily, for such time as may seem to him tolerable, the carbolic smoke ball to his nostrils for a whole fortnight, he is doing nothing at all – that it is a mere act which is not to count towards consideration to support a promise (for the law does not require us to measure the adequacy of the consideration). Inconvenience sustained by one party at the request of the other is enough to create a consideration. I think, therefore, that it is consideration enough that the plaintiff took the trouble of using the smoke ball. But I think also that the defendants received a benefit from this user, for the use of the smoke ball was contemplated by the defendants as being indirectly a benefit to them, because the use of the smoke balls would promote their sale …

[AL SMITH LJ delivered a judgment to a similar effect.]

Appeal dismissed.

MacRobertson Miller Airline Services v Commissioner of State Taxation (WA)

[3.35] *MacRobertson Miller Airline Services v Commissioner of State Taxation (WA)* (1975) 133 CLR 125 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: A person wishing to take passage on MacRobertson Miller Airline Services would be advised, on inquiry, on what flights seats were available to her or his destination, and the fare. Having selected the flight, the prospective passenger was handed a ticket, on which were entered the appropriate details, in return for the fare. At the appropriate time, the passenger presented the ticket to secure her or his seat on the flight. A condition printed on the ticket provided that the airline reserved the right to abandon any flight or cancel any ticket or booking and that upon abandonment or cancellation, the passenger would be entitled to a refund of so much of the fare as was proportionate to the part of the flight abandoned or cancelled, and the airline would be under no other liability to the passenger for failure to carry her or him at the booked or scheduled time or at all.

It was necessary for stamp duty purposes to determine whether the ticket so issued was "an agreement or any memorandum of agreement". The Supreme Court of Western Australia found that it was. The airline appealed.]

BARWICK CJ: [132] It is, in my opinion, clear that the issuing airline operator does not by the terms of the ticket assume or offer to assume any obligation [133] to carry the intending passenger. Clauses 2 and 5 made this particularly clear. The case is not, in my opinion, one in which an obligation is assumed or an offer of an obligation made from or upon which obligations, exemptions or limitations are stipulated. The exemption of the ticket in this case fully occupies the whole area of possible obligation, leaving no room for the existence of a contract of carriage.

In my opinion, the proper legal analysis of the situation which arises on the making of a reservation for a seat upon a flight, the payment of the fare appropriate to that flight and the issue of a ticket as in this case, is that if, without any antecedent promise to do so, the airline operator in fact conveys the passenger in accordance with the reservation or any variant of it permissible under the terms of carriage indorsed on the ticket, the airline operator will have earned the fare which has been prepaid and be entitled to retain it: otherwise the amount which has been prepaid against the possibility of such carriage will be refunded. But if, in any case, the described carriage eventuates it shall be upon the indorsed terms of carriage. To this statement there is a possible qualification, namely, if the airline operator has been able, ready and willing to carry the passenger in accordance with the particulars on the ticket and the intending passenger has not presented himself in due time at the airline traffic office at the designated airport, the airline operator may claim to have earned the fare. In general, therefore, the entitlement of the airline company to retain the prepaid fare is dependent on the actual performance of carriage. The situation is an example of the payment of a reward for an act performed at request with no antecedent promise by the person performing the act to do so. The terms of carriage are akin to the terms of the prospectus in *Edgar v Blick* (1816) 1 Stark 464; 171 ER 531, and like them are not dutiable, though admissible to determine the rights of the passenger and airline in respect of the actual carriage.

In my opinion, therefore, the precise question in the stated case should be answered in the opposite sense to the answer given by the Supreme Court.

However, quite apart from the particular terms of the ticket in the instant case, the issue of a ticket by an airline operator neither constitutes an agreement nor a memorandum of an agreement. I apprehend that the normal procedure in making a reservation of a seat on an aeroplane flight is that inquiry is made of the airline operator or its agent, usually being a travel agent, whether, having regard to existing reservations, a seat is available on a nominated flight. If it is, the appropriate fare is paid or promised to be paid [134] and a ticket appropriate to the reservation issued. Now, supposing the airline ticket does not contain an express promise to carry the ticket holder on the nominated flight, it could (sic) be inferred from this procedure that the airline company by the issue of the ticket had bound itself by agreement to carry the intending passenger on the specified, or for that matter

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on any, flight, a promise which being broken would require the payment of damages. On a proper analysis of the procedure described, the airline operator was not in contractual relations with the intending passenger until it had provided him with a seat on the aeroplane. Then, in consideration of the fare prepaid, such obligations as the conditions of the ticket impose on the airline operator attached. The issue of the ticket, in my opinion, is mainly a receipt for the payment of the fare, though it also stipulates an occasion when the fare may not be refundable though actual carriage has not ensued. The payment made on the making of the reservation ought, in my opinion, to be regarded as no more than the prepayment of the fare payable for an actual carriage performed. Having regard to the known contingencies of airline operation it would be incongruous to infer the making of a promise to carry from the mere payment of the fare and its acknowledgment by the issue of a ticket. The ticket, apart from any specific terms it might contain, would not be regarded as entitling its holder to a place on a particular flight. It should be regarded as doing no more than denominate the carriage which, if performed, will earn the prepaid fare. If, as in the present case, the ticket contains terms of carriage, these will, given the performance of the denominated carriage, regulate the relationship of the parties during and in connection with such carriage and thus their respective rights in relation thereto.

It should be observed that in *Hood v Anchor Line (Henderson Bros) Ltd* [1918] AC 837, the question was whether a part of the ticket which had been issued by the steamship company formed part of the terms on which the actual carriage took place. The action was for negligence in the performance of that carriage. Thus, even if there had not been in that case an antecedent promise to carry, the condition by which the appellant was held to be bound would have been part of the terms governing the relationship of the parties during the performance of the actual carriage. But, in fact, the ticket issued by the ship owner in that case contained an express engagement "to provide passage with certain accommodation on a particular voyage". The ticket in that case, as Lord Findlay observed, "really professes to be a memorandum of the contract": [1918] AC 837 at 841.

[135] In any case, a promise to carry may be more appropriately made by a steamship company than by an airline operator. The marked degree of certainty on the one hand and of uncertainty on the other affords good ground for distinguishing the inferences which, apart from express provisions, might be drawn in the one case though not in the other.

Therefore, although the terms of the ticket in this case with their express and extensive limitations and exclusions preclude the existence of an antecedent contract of carriage, it is my opinion that, in any case, without the presence of these express provisions and in the absence of an express provision to carry, the ticket would not represent an agreement or a memorandum of agreement to satisfy the relevant portion of the schedule to the *Stamp Act* …

For these reasons, I would allow the appeal.

[3.40] STEPHEN J: Until 1970 the United Kingdom stamp duty legislation contained a similar provision and a wealth of authority as to its meaning has developed which is directly applicable to the provisions of the Western Australian legislation. It establishes that a document containing a written offer which is subsequently accepted orally or by conduct does not thereby become either an agreement or a memorandum thereof for the purposes of stamp duty …

[136] Accordingly, in the present appeal it will be critical to determine whether the issue by the appellant of its ticket was merely the making of an offer, to be later accepted either orally or by conduct, or whether, on the contrary, an agreement, of which it contained the terms, was concluded at or before the time of its issue, the ticket either being that agreement or being a memorandum of it. Each of these two latter possibilities will be excluded if the fact be that when the ticket was issued to the passenger no agreement had yet been concluded but instead awaited the passenger's acceptance of the offer constituted by the ticket …

A prospective passenger makes known his requirement, is informed whether and when the passage is available and the cost, a ticket is then written out in duplicate on a printed form and tendered to

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the passenger in return for the price; in due course, on the day of travel, the passenger uses his ticket to secure transport of his baggage and himself on the relevant aircraft.

It is to those facts that the accepted doctrine of the formation of contracts must be applied so as to determine whether the ticket is merely an offer, antecedent to agreement, or is itself the agreement or a memorandum of it.

This doctrine, of the formation of contracts by offer and acceptance, encounters difficulties when sought to be applied, outside the realms of commerce and conveyancing, to the everyday contractual situations which are a feature of life in modern urban communities. Contracts for the carriage of passengers, one of the most common classes of contract in a commuter society and one which ordinarily involves the attempted imposition of contractual restrictions upon the passenger's rights should he suffer loss or injury, provide an instance of these difficulties. The circumstances in which mass transportation occurs frequently permit of no time for prior negotiation, which would in any event usually be pointless with prevailing contracts of adhesion; moreover the transportation often will begin before there has been any communication at all between the passenger and the carrier's agent, the contract being "inferred from [137] the acquiescence of the carrier in the presence of the passenger on the conveyance":

Hood v Anchor Line (Henderson Bros) Ltd per Lord Dunedin; and see *Wilkie v London Passenger Transport Board* [1947] 1 All ER 258 at 259 per Lord Greene MR.

The conventional analysis of the formation of contracts for the carriage of passengers in those somewhat more leisurely transactions which involve the issue of a ticket in return for payment of a fare and the subsequent performance of the contract by the act of transportation, is to regard the ticket as the offer, the contract being made upon acceptance of that offer by the passenger, usually by conduct. Lord Denning describes this analysis, referring to the authorities which establish it, in *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 at 169. He does so in the course of demonstrating its inappropriateness in situations in which there in fact exists no opportunity either of considering the terms of the proffered contract or of declining to enter into it on the terms which are offered.

In the present case there is no such inappropriateness. It is just such a case as that for which the conventional analysis was devised. This analysis affords to the intending passenger an opportunity, no doubt but rarely availed of, of ascertaining the conditions which the carrier seeks to impose and of accepting or rejecting them. The conventional long-distance rail or passenger liner situation is therefore applicable, a ticket is purchased in advance of the carriage and that ticket constitutes an offer available for acceptance by the passenger. Although the economics of mass transportation in fact lead to an absence of much real choice on the passenger's part whether or not to accept conditions sought to be imposed, he at least retains the ability to learn of those conditions and to refuse to travel by the intended means if he sees fit.

The general run of so called "ticket cases" involving contracts of carriage has been concerned with mishaps occurring during transportation and with the effect, if any, which conditions, sought to be imposed upon the passenger by the ticket issued to him, may have upon his rights against the carrier. The precise time at which the carrier's offer is accepted has not been the central question, although it has been indirectly involved in the central question of whether or not the conditions on the ticket have been incorporated as terms of the contract. The authorities make it clear that, in the [138] absence of particular conduct on the part of the passenger, acceptance of the offer which a carrier makes when a ticket is issued does not occur immediately upon its receipt by the passenger; the whole concept of a passenger's acceptance of ticket conditions and of the need adequately to draw those conditions to his attention (*Balmain New Ferry Co Ltd v Robertson* (1906) 4 CLR 379 at 387 per Griffith CJ) is dependent upon this.

It is enough to refer to three authorities, over a span of almost a hundred years, in which, when the ticket itself contains conditions or a reference to conditions elsewhere available, the passenger's acceptance of the carrier's offer is treated as occurring some time after issue of the ticket. In *Parker v*

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South Eastern Railway Co (1877) 2 CPD 416 at 426–8 Bramwell LJ, on three occasions referred to the passenger being afforded, if he wishes, the opportunity of reading the conditions on a ticket which is proffered to him before becoming bound by them, that is, before the contract can be regarded as concluded, and see also (1877) 2 CPD 416 at 425 per Baggallay LJ …

[139] The cases … are replete with references to passengers who elect not to read ticket conditions, no doubt the common behaviour of most passengers; they, it is said, do not thereby escape being bound by those conditions. This rule of law, which is directed to identifying the agreed terms of the particular contract, does not detract from but, rather, supports the proposition that acceptance, and the resultant formation of the contract, does not occur upon tender of the ticket. It occurs after that event, either when the passenger has by actual conduct intimated his acceptance of the offer, for instance by immediately boarding the vehicle in question, or, absent any such conduct, when a reasonable time has passed during which the passenger has had an opportunity of reading the conditions appearing on the ticket and has not then rejected the offer and demanded the return of his fare. In other words, acceptance will normally be by conduct and this conduct will consist either of an overt act consistent only with acceptance or, in its absence, of the passenger's failure to reject the offer after he has had an opportunity of learning of the conditions upon which carriage is offered.

Those cases in which a contract is concluded which incorporates ticket conditions despite the passenger's failure to read them are instances either of the occurrence of such an overt act or of the passing of a reasonable time without rejection. In the latter case there is involved the concept of effective acceptance without actual communication to the offeror; but when, as here, the offeree, by tendering his fare, has performed his part of the bargain in advance his acceptance may readily be inferred from his failure, within a reasonable time after receipt of his ticket, to reject the offer and demand the return of his fare: *Williston on Contracts* (3rd ed), vol 1, para 91C. What will be a reasonable time within which to reject proffered terms will be a question of fact in every case dependent upon all the circumstances, including, no doubt, the length and complexity of the conditions which form part of the offer. What Hawkins J in *Watkins v Rymill* (1883) 10 QBD 180, and Megaw LJ in the passage cited from the *Shoe Lane Parking case* [1971] 2 QB 163 at 173–4, each referred to as "a fair opportunity" of reading the tendered ticket will provide the test, recourse being had, for this purpose, to familiar standards of reasonableness.

If this, then, be the correct view of the time of formation of such a contract as the present one, it necessarily follows that in the [140] typical circumstances referred to in the stated case the completed ticket itself will not, when it comes into existence, then record any existing agreement nor itself be an agreement; it will be no more than a written offer open for acceptance. Hence it is not dutiable as an "agreement or any memorandum of an agreement" for the purposes of the *Stamp Act*.

The conditions appearing in the appellant's ticket are not easy to interpret; they appear to relieve the appellant very substantially from performance of those obligations relating to the carriage of the passenger which are to be implied from the description, in the ticket, of the destination, the flight number and the departure time and date. However I think it unnecessary to arrive at any conclusion as to whether the presence of these conditions is such as to prevent the formation of any contract between the appellant and its passenger before transportation commences. It is enough for me to conclude that at date of issue the ticket was not an agreement or any memorandum of agreement. I would therefore allow this appeal …

[JACOBS J also considered that the ticket was not an agreement or memorandum of agreement. In relation to cl 2, Jacobs J commented (at 148): "any enforceable promise to carry which might on the present assumption be implied between the airline and passenger from the issue of the ticket is negatived."]

Appeal allowed.

[3.45] **Note**

The identification of offer and acceptance in cases involving the issue of a ticket is considered further in *Oceanic Sun Line Shipping Co Inc v Fay* (1988) 165 CLR 197, extracted at [12.55].

Offers distinguished from invitations to treat

Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern)

[3.50] *Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd* [1953] 1 QB 401 (Court of Appeal) – Appeal from Lord Goddard CJ.

[FACTS: The defendants (Boots) operated a self-service shop in one part of which certain drugs were displayed. This part of the shop was under the control of a registered pharmacist. A customer, having taken the goods, including drugs, which he wished to buy from the shelves, would put them in a wire basket provided for the purpose and take them to an attendant at the cash register at one of the shop's exits. Whenever a customer took drugs to the cash register the pharmacist supervised that part of the transaction and was authorised by the defendants to prevent a customer removing drugs if he saw fit. Two customers following this procedure purchased drugs. The *Pharmacy and Poisons Act 1933* (UK) made it unlawful for a person to sell certain drugs unless "the sale is effected by, or under the supervision of, a registered pharmacist".

Lord Goddard had held that sales of the drugs in the manner described did not contravene the Act.]

SOMERVELL LJ: [405] The point taken by the plaintiffs is this: it is said that the purchase is complete if and when a customer going round the shelves takes an article and puts it in the receptacle which he or she is carrying, and that therefore, if that is right, when the customer comes to the pay desk, having completed the tour of the premises, the registered pharmacist, if so minded, has no power to say: "This drug ought not to be sold to this customer." Whether and in what circumstances he would have that power we need not inquire, but one can, of course, see that there is a difference if supervision can only be exercised at a time when the contract is completed …

Whether the view contended for by the plaintiffs is a right view depends on what are the legal implications of this layout – the invitation to the customer. Is a contract to be regarded as being completed when the article is put into the receptacle, or is this to be regarded as a more organised way of doing what is done already in many types of shops – and a bookseller is perhaps the best example – namely, enabling customers to have free access to what is in the shop, to look at the different articles, and then, ultimately, having got the ones which they wish to buy, to come up to the assistant saying "I want this"? The assistant in 999 times out of 1 000 says, "That is all right", and the money passes and [406] the transaction is completed. I agree with what the Lord Chief Justice has said, and with the reasons which he has given for his conclusion, that in the case of an ordinary shop, although goods are displayed and it is intended that customers should go and choose what they want, the contract is not completed until, the customer having indicated the articles which he needs, the shopkeeper, or someone on his behalf, accepts that offer. Then the contract is completed. I can see no reason at all, that being clearly the normal position, for drawing any different implication as a result of this layout.

The Lord Chief Justice, I think, expressed one of the most formidable difficulties in the way of the plaintiff's contention when he pointed out that, if the plaintiffs are right, once an article has been placed in the receptacle the customer himself is bound and would have no right, without paying for the first article, to substitute an article which he saw later of a similar kind and which he perhaps preferred. I can see no reason for implying from this self-service arrangement any implication other

Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) cont.

than that which the Lord Chief Justice found in it, namely, that it is a convenient method of enabling customers to see what there is and choose, and possibly put back and substitute, articles which they wish to have, and then to go up to the cashier and offer to buy what they have so far chosen. On that conclusion the case fails, because it is admitted that there was supervision in the sense required by the Act and at the appropriate moment of time. For these reasons, in my opinion, the appeal should be dismissed.

[3.55] BIRKETT LJ: [407] The Lord Chief Justice dealt with the matter in this way, and I would like to adopt his words ([1952] 2 QB 795 at 802):

> It seems to me, therefore, that the transaction is in no way different from the normal transaction in a shop in which there is no self-service scheme. I am quite satisfied it would be wrong to say that the shopkeeper is making an offer to sell every article in the shop to any person who might come in and that person can insist on buying any article by saying "I accept your offer."

Then he went on to deal with the illustration of the bookshop, and continued:

> Therefore, in my opinion, the mere fact that a customer picks up a bottle of medicine from the shelves in this case does not amount to an acceptance of an offer to sell. It is an offer by the customer to buy and there is no sale effected until the buyer's offer to buy is accepted by the acceptance of the price. The offer, the acceptance of the price, and therefore the sale take place under the supervision of the pharmacist. This is sufficient to satisfy the requirements of the section …

[ROMER LJ in a brief judgment also agreed that the appeal should be dismissed.]

Appeal dismissed.

[3.56] **Note**

The interpretation of a proposal to form a contract made by way of electronic communications is now affected by the Electronic Transactions Acts. See at [3.225] and [3.230].

Revocation of an offer

Goldsbrough Mort & Co v Quinn

[3.60] *Goldsbrough Mort & Co Ltd v Quinn* (1910) 10 CLR 674 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: The facts are set out by Griffith CJ.]

GRIFFITH CJ: [677] This was a suit by the appellants for specific performance of an agreement, the terms of which are contained in a document dated 8 February 1909, and signed by the respondent in the following terms:

> I John Thomas Quinn in consideration of the sum of five shillings paid to me hereby grant to Goldsbrough, Mort & Co Ltd the right to purchase the whole of my freehold and conditional purchase and conditional lease lands situate near Canonbar, and known as Bena Billa, comprising about 2 590 acres, within one week from this date at the price of £1 10s per

Goldsbrough Mort & Co v Quinn cont.

> acre, calculated on a freehold basis, and subject to the usual terms and conditions of sale relating to such lands, and upon the exercise of this option I agree to transfer the whole of the said lands to the said company or its nominee.

The respondent says that before the expiration of the week, and before acceptance of the offer by the appellants, he informed the appellants' solicitor, at whose office the document was drawn up and signed, that he repudiated the offer, alleging that it had been made under a mistake …. [678] The appellants, notwithstanding the alleged repudiation, but without any other notice of it, accepted the offer within the week.

The respondent contends that under these circumstances there never was any complete contract for sale of the land, that the only agreement evidenced by the document of 8 February was an agreement to make another agreement, which if made might have been enforced specifically, and that the only remedy for breach of the actual agreement is in damages …

All agreements consist, in substance, of an offer made by one party and accepted by the other. The offer and acceptance may be contemporaneous, or the offer may be made under such circumstances that it is to be regarded as a continuing offer subsisting at the moment of acceptance. At that point there is a consensus ad idem, that is, a contract. But an offer may be withdrawn at any time before acceptance. A mere promise to leave it open for a specified time makes no difference, because there is, as yet, no agreement, and the promise, if made without some distinct consideration, is nudum pactum and not binding. But if there is (as in the present case) a consideration for the promise it is binding. This is often expressed by saying that an option given for value is not revocable … I think that the true principle is that in such a case the real transaction is not an offer accompanied by a promise, but a contract for valuable consideration, viz, to sell the property (or whatever the subject matter may be) upon condition that the other party shall within the stipulated time bind himself to perform the terms of the offer embodied in the contract. I think that such a contract is not in principle distinguishable from a stipulation in a lease that the lessee shall have an option of purchase, which is in substance a contract to sell upon condition. The nature of the consideration for the promise is not material.

If, however, the only promise was a promise not to withdraw [679] the offer, I should have some difficulty in saying that a breach of it could not be properly compensated for in damages.

I think, therefore, that this point fails, and that a suit for specific performance may be maintained in respect of the contract constituted by the letter of 8 February, and its acceptance by the appellants.

[684] For these reasons I think that the appeal must be allowed.

[3.65] O'CONNOR J: [685] [I]t is necessary to advert to the form of the offer and to its effect. In substance it is an undertaking by the respondent to sell and transfer to the appellants the lands referred to at the price named on condition that the appellants on their part are willing to buy on those terms, and signify their assent within one week from 8 February 1909. In other words, it is an agreement to sell on a condition subsequent, the condition being the acceptance of the other party within the time named. The appellant's right under the contract is to accept within the week, and having fulfilled [686] the condition they were entitled to all the benefits of the contract. The respondent's refusal to perform his part by withdrawing his undertaking and preventing the appellants from accepting was a breach which entitled them to maintain an action for damages at law, or if the case were deemed to be one for specific performance, entitled them to a decree for that relief. But the document may also be regarded from another point of view. Assume that it was merely an offer to sell on the terms embodied in the document. The respondent on the face of it undertakes for valuable consideration to keep it open to the plaintiff for a week. During that week he could not lawfully withdraw it. That proposition seems to me obvious on the established principles of the law of contracts, and it appears to have been assumed to be so in many cases. In *Bruner v Moore* [1904] 1 Ch 305, for instance, Farwell J takes it to be settled law that an option for value is not revocable during the period for which it is given. The respondent therefore having withdrawn

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the offer during the week is liable at law to an action for depriving the appellants of their right of acceptance. The position in equity assuming the agreement proper under all the circumstances for specific performance, is I think correctly stated in the passage from *Page on Contracts*, vol 1, pp 63–4, quoted during the argument. A court of equity will disregard the withdrawal, and treat the offer as if it had been duly accepted while still open for acceptance. In my view it is of little moment whether the document is regarded as an agreement by the vendor to sell subject to a condition subsequent which the purchaser has performed, or as an option given for valuable consideration which could not be withdrawn, and the withdrawal of which before acceptance a court of equity will disregard in adjusting the rights of the parties. Looked at in either aspect there is nothing in the form or effect of the document to disentitle the appellants from obtaining a decree for specific performance of the whole agreement to as full an extent as if the option was still subsisting at the date of acceptance …

[690] It follows that the appeal must be allowed and the judgment appealed against set aside.

[3.70] ISAACS J: The first question is as to the effect of the contract of 8 February 1909. That contract is what is ordinarily known as an option; it consists of a promise founded on valuable consideration to sell land on stated terms within a given time. Unsupported by valuable consideration such a promise would be nudum pactum, and until the creation of a contract by acceptance in strict accordance with the stated conditions, could be withdrawn. So much is clearly established by a century of decisions …

If accepted in accordance with the stipulated conditions, no attempted withdrawal having meanwhile taken place, the relation of vendor and purchaser is created by the contract thus formed, and such a contract may be ordered to be specifically carried out. Again, that is the subject of express decision as in *Bruner v Moore*.

The respondent argues that in the circumstances of this case there was no contract of sale. He contends that, although the offer is supported by valuable consideration, yet if the promisor does in fact, before due acceptance, declare his intention not to carry out his promise, that is a withdrawal of his offer, and no subsequent acceptance can convert the relation of the parties into that of vendor and purchaser. The result, it is argued, is that although damages for breach of the original contract to let the offer stand may be recovered, yet in law there is no contract of [691] sale and purchase of land to specifically perform, or for the breach of which even damages can be awarded.

No decision actually determining this precise point has been cited to us; but the reasoning and unvarying dicta of judges of eminence demonstrate that the principle on which actual decisions have proceeded places the matter beyond doubt …

In *Bruner v Moore* where £400 was given for the option Farwell J says: "The option, which is given for value and is, therefore, not revocable," &c. In *South Wales Miners' Federation v Glamorgan Coal Co* [1905] AC 239 at 253 Lord Lindley points out that to break a contract is an unlawful act, and that in point of law a party to a contract is not entitled to break it even on offering to pay damages. This is only another way of saying the promise is irrevocable. In my opinion the whole question turns on that point, the irrevocability of the option.

The feature which distinguishes an option from a mere offer is the consideration. That, however, does not alter the nature of the offer, it merely ensures its continuance, by creating a relation in which the law forbids the offeror retracting it. He may attempt to do so – ignoring the circumstance that for consideration he has parted with the right to withdraw – but his attempt is in the sight of the law ineffectual.

He has parted with the right to alter his mind for the period limited, and he cannot in breach of his contract be heard to say the contrary. His offer must therefore be deemed to stand.

[692] To hold otherwise would be equivalent to saying he had not sold to the promisee on option, but only the promise to give an option, which would be absurd. It is the option which he has sold, that is, the right of electing whether to purchase or not …

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It was rightly urged by learned counsel for the appellants that such an option gives the optionee an interest in the land … Of course the interest which the optionee possesses is not the same as that of a purchaser, but it is something real and substantial, and beyond the power of the grantor of the option to withdraw. Nevertheless I do not for this branch of the case rely on that equitable interest, because I would hold the respondent bound on general principles of contract whatever were the subject matter of the agreement, and would regard the offer as irrevocably fixed for the period agreed on.

The inevitable consequence is that in contemplation of law the offer was not withdrawn, and when linked with the acceptance, the necessary mutual contractual obligation to sell and purchase the land on the stipulated terms was created …

[696] In the view I take … I necessarily regard the parties as having entered into two separate contracts. The first was a unilateral contract that a certain offer should last for a week, and in this contract the con-[697]sideration was 5s. The appellants had no obligation beyond the consideration, the respondent none but to continue the offer for the stipulated time. Had there been any attempt by the respondent to dispose of the land to another during that period he might have been enjoined, because the affirmative promise to the appellants necessarily implied an undertaking not to sell to another. But in the absence of such an attempt the remedy was in the appellants' own hands. They could at any moment before the expiration of the period agreed on, by simple acceptance, convert their position of optionees into that of absolute vendees, with mutual obligations … That change of position has been effected by the act of the party entitled, and therefore the remedy of specific performance of the primary agreement is not only unnecessary and inappropriate but impossible. There is nothing in that agreement to perform. Its terms must be looked at, but only to ascertain the offer, which with acceptance constituted the later and distinct contract.

Unilateral contracts

Mobil Oil Australia v Wellcome International

[3.75] *Mobil Oil Australia Ltd v Wellcome International Pty Ltd* (1998) 81 FCR 475 (Federal Court of Australia) – Appeal from Wilcox J.

[FACTS: Mobil operated an incentive scheme for its franchisees known as the Circle of Excellence. Franchisees who achieved high scores in the Circle of Excellence judging were given certain rewards, such as overseas holidays. At a convention for franchisees held in 1991, Mobil's general manager for retail marketing, Mr Ken Stumbles, told franchisees that Mobil was seeking to implement a "tenure for performance" scheme. He told them that Mobil wanted to implement a scheme whereby a franchisee who achieved a score of 90 per cent or better in any year would be granted an extra year's tenure (the "one for one" proposal), but that this was very difficult to achieve under the *Petroleum Retail Marketing Franchise Act 1980* (Cth) (the PRMF Act). He said it may be that the only way to give the extended tenure is to say that any franchisee who achieves a score of 90 per cent or better in the Circle of Excellence judging in each of the six years following 1991 would be granted a nine-year renewal of their franchise without cost (the "nine-for-six" proposal).

A videotape including the relevant part of Mr Stumbles' address was sent to all franchisees. The undertaking was repeated in literature distributed to franchisees. At subsequent regional meetings, franchisees were given a brochure including a tear-off slip which franchisees could sign to indicate that they did "accept the challenge to exceed 90% in Circle of Excellence judging and qualify for extra tenure." Many franchisees signed and returned the tear-off slip and took steps to improve their performance in the Circle of Excellence judging. Several franchisees achieved a score of 90 per cent or better in the four years following the announcement.

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Following management and policy changes, Mobil announced in 1994 that it would not grant renewals free of charge on the basis proposed by Mr Stumbles, but would discount the renewal fees of any franchisees who had succeeded in obtaining 90 per cent or better in 1992 and 1993. One-hundred and fifty-four franchisees commenced proceedings against Mobil, claiming relief on the basis of breach of contract, equitable estoppel or misleading or deceptive conduct in breach of s 52 of the *Trade Practices Act 1974* (Cth). They sought orders requiring Mobil to grant the additional tenure or compensate them for its loss. Mobil then abandoned the Circle of Excellence judging.

The parties selected five test cases, which were heard together by Wilcox J. Wilcox J held that Mobil had made no offer of a one-for-one extension, since Mr Stumbles clearly indicated that this could not be done under the PRMF Act. Wilcox J upheld the contract claim based on the nine-for-six proposal made by three franchisees who had achieved 90 per cent or better in the Circle of Excellence judging in the four years following the announcement. He ordered Mobil to grant a nine-year extension of each of those franchises without charge. He found that Mobil had not engaged in misleading or deceptive conduct because Mr Stumbles had reasonable grounds for making the representation at the time he made it. In any event, a claim in respect of misleading conduct would not provide the franchisees with damages in respect of their disappointed expectations. Wilcox J also found that the franchisees were not entitled to a renewal of their franchises on the basis of promissory estoppel. The detriment the franchisees had suffered in reliance on Mobil's promise did not justify holding Mobil to its promise. The relief claimed was disproportionate to the detriment suffered.

Mobil appealed to the Full Court. The successful franchisees filed notices of contention in respect of dismissal of the estoppel claims.]

THE COURT (LOCKHART, LINDGREN AND TAMBERLIN JJ): [494]

2. Contractual issues

[498] The trial judge found an offer of a nine-for-six promise in the following passage:

> So we have more work to do and where we're at at the moment is that maybe the only way to do this is to say that if you achieve 90 each year for the next 6 years then well [sic] guarantee you another 9 years as of right, no fees just a renewal. *Now we've got a lot more work to do on this but the commitment that we're making to you here today is that we will find a way to extend your tenure automatically no costs if you consistently achieve 90 or better in Circle of Excellence judgings*. (Emphasis added)

This passage follows immediately that in which Mr Stumbles said that the one-for-one proposal was made "very very difficult" by the PRMF Act and that Mobil had more work to do on the tenure for performance reward. In the first sentence set out above he says that the stage reached as at the time of the Convention was that "maybe" the only scheme consistent with the PRMF Act is a nine-for-six one.

The terms of the first sentence ("we have more work to do", "where we're at [499] the moment", "maybe") are not those of a present offer. That the first sentence is not to be understood as representing a commitment by Mobil is also made clear by the second and emphasised sentence: that sentence marks a passing from a statement of what Mobil is not prepared to commit itself to, to the language of commitment. The passage set out above is in fact as consistent with a rejection of a nine-for-six scheme as it is with a countenancing of it.

The import of the second and emphasised sentence, read in the context of the problems previously outlined by Mr Stumbles, is that while Mobil could not promise an extension of tenure for any particular period, and, concomitantly, could not define the degree of "consistency" of attainment of 90 per cent or better in Circle of Excellence judgings to be achieved, it could and did assure franchisees that it would find some way to grant some extension automatically and without cost if a dealer achieved some degree of consistency of 90 per cent or better scores in those judgings. No doubt, the reference to "commitment" was taken seriously and was intended to be taken seriously. The sentence quoted came at the end of Mr Stumbles' references to the problems which had prevented Mobil from implementing a simple one-for-one plan. He must also have known of

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the unsatisfactorily discriminatory nature of the nine-for-six alternative. Yet he wished to finish on a positive, reassuring note. The best that he could fairly manage was the sentence in question. But in our respectful opinion, an offer of a promise to "find a way" to "extend [for an unspecified period]" a dealer's tenure if the dealer "consistently [over some undefined period]" achieved 90 per cent or better in Circle of Excellence judgings, is simply too vague and uncertain to be capable of giving rise to contractual obligation. Nor do we think that the sentence can be construed with that which immediately preceded it, to indicate that Mobil would grant a nine-for-six extension if it should conclude that this was the only lawful way to provide a reward of tenure for performance.

We have reached this conclusion as a matter of construction of Mr Stumbles' address and have taken into account the accompanying captions, including that reading:

> 90 or better for 6 years
> Automatic 9 year renewal.

We need not repeat what we said earlier about the role of the screened captions. [The address was punctuated by captions flashed onto a screen at the front of the room in which dealers were having breakfast.]

Certain circumstances extrinsic to Mr Stumbles' speech may be noted. First, the second and emphasised sentence set out above was the only passage from Mr Stumbles' speech which was communicated by means of the "Convention highlights" video and the September 1991 issue of the "Mobil Marketer". Accordingly, in respect of persons who did not attend the Convention (with the exception of Mr Morris of Lyndel who saw a screening of the entire address), it is quite impossible to construe what they heard and saw as an offer of a nine-for-six promise ….

The learned trial judge emphasised that Mr Stumbles intended his speech to be taken seriously and acted upon, and that he was, for the purpose, the "mind" of Mobil. His Honour said of Mr Stumbles: "He intended, and so Mobil intended, that his offer of tenure for performance would motivate franchisees to improve their businesses; and he believed this "would in turn improve Mobil's business"."

[500] Referring to the tear-off slip, his Honour said: "Franchisees were asked to commit themselves in writing to "accept the challenge to exceed 90 in Circle of Excellence judging and qualify for extra tenure." This is the language of mutual commitment."

Notwithstanding Mr Stumbles' intention and the "commitment" sought by means of the completion and return of the tear-off slip, in our respectful view, the problem remains for the franchisees' case in contract, that neither the terms of the speech nor those of the tear-off slip were sufficiently certain to give rise to a contract.

What we have said above addresses the question whether there was an offer of a one-for-one or nine-for-six promise to be accepted by performance of an act to be found in Mr Stumbles' speech. We will deal later with the separate question whether Mr Stumbles' address laid sufficient foundation to activate an estoppel or to support the claim under s 52 of the [Trade Practices] Act.

It will next be necessary to consider other contractual issues which would arise if, contrary to our conclusions expressed above, Mobil did, through Mr Stumbles' speech, offer the nine-for-six promise.

Revocation of offer

Mobil submits that even if Mr Stumbles' speech could be characterised as containing an offer of a nine-for six-promise:

(a) Mobil revoked the offer before the earliest time when acceptance could have occurred (1997);

(b) the offer was not accepted because none of the five franchisees in question attained 90 per cent or better in Circle of Excellence judgings in all six years 1992, 1993, 1994, 1995, 1996 and 1997; and

(c) specific performance was not an available remedy in all the circumstances.

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These submissions raise several issues relating to unilateral contracts.

A unilateral contract is one in which the act of acceptance of the offer is also an executed consideration for the promise offered. The act of acceptance called for by the offer, once completed by the offeree, leaves the contract executory only on the part of the offeror. A familiar illustration is the offer of a reward for the return of lost goods or for the provision of information. The supposed nine-for-six promise was the offer of a reward (nine years free tenure) in return for an act (the attaining of 90 per cent or better in Circle of Excellence judging over the six years 1992–1997).

A distinction must be recognised. In the case of some unilateral contracts, it may remain within the offeree's power unilaterally to complete the act of acceptance, and thereby to furnish the executed consideration sought, that is to say, without the necessity of cooperation by the offeror and even notwithstanding a purported revocation of the offer. An example is the furnishing of sought information by posting it in an envelope addressed in a particular way. There may also be a case (it is, perhaps, difficult to imagine one) in which the offeror may prevent the offeree from completing the act of acceptance, and thereby furnishing the executed consideration sought, yet the offer will be held not to have been revoked. In the present case, Mobil made it clear to its dealers that its supposed nine-for-six-offer was revoked. But, in addition, by terminating the system of Circle of Excellence judgings, it made it impossible for its dealers to complete the act of acceptance called for by that supposed offer. In the present section of these reasons, we address only the question whether Mobil effectively revoked its supposed offer.

[501] … It will be recalled that it was in January 1996 that Mobil announced, without giving reasons, the abandonment of the Circle of Excellence awards. The sequence of events, then, is that there was a purported revocation after which Mobil made it impossible for franchisees to complete the act of acceptance by attaining 90 per cent or better in Circle of Excellence judgings in the last two of the six years (1996 and 1997).

His Honour referred to discussions of the question whether an offeror of a promise for an act can effectively revoke the offer where performance of the act of acceptance has been embarked upon but not completed. He referred to Cheshire & Fifoot, *The Law of Contract* (2nd ed), pp 137–9; Carter & Harland, *Contract Law in Australia* (3rd ed), pp 67–9; *Abbott v Lance* (1860) 2 Legge 1283; *Daulia Ltd v Four Millbank Nominees Ltd* [1978] Ch 231; and *Veivers v Cordingley* [1989] 2 Qd R 278. He considered that the weight of authority was in favour of the proposition that: "… a person who makes an offer susceptible of acceptance by performance of an act, may not revoke that offer after the offeree has embarked upon performance of the act."

While his Honour thought that there was some difference in the authorities as to the proper juristic basis of this proposition and that "in a technical sense" he was not bound to follow the decisions to which he referred, he considered that he should follow them unless positively satisfied that they were wrong. He recorded that he was not so satisfied.

We would make several observations at the outset. It has been suggested to be unjust that an offeror should be at liberty to revoke the offer once performance of the act, which is at once the act of acceptance and the executed consideration, has commenced. This proposition is usually stated as if its truth were self evident and universal. We do not think that it is either.

(a) The respective positions of offeror and offeree vary greatly from the case of one unilateral contract to another. The following factors illustrate:

  (i) the offeror may or may not know that the offeree has commenced performance;

  (ii) the offeree may or may not have an understanding that the offeror is at liberty to revoke and that any incomplete performance of the act of acceptance by the offeree will be at his or her risk;

  (iii) the notion of "commencement of performance of the act of acceptance" or "embarking upon the act of acceptance" is problematical and can lead to a result which is unjust to the offeror. [502] By reference to the facts of the present case, could it be suggested

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that attainment of 90 per cent in the first year or even perfect operation of a service station for a day, a week or a month, albeit by reference to the offer, represents a commencement of attainment of 90 per cent in all six years so as immediately to bind Mobil not to revoke?

(iv) the act called for by the offer may be detrimental to the offeree, or of some benefit to the offeree as well as to the offeror, as in the present case;

(v) although the offeree is not obliged to perform, or to continue performing, the act of acceptance and is at liberty to cease performing at any time, ex hypothesi, the offeror remains bound, perhaps over a lengthy period as in the present case, to keep its offer open for completion of the act of acceptance, without knowing whether the offeree will choose to complete or not to complete that act;

(vi) the circumstances of the particular case may or may not, by reference to conventional criteria, suggest that the parties intended that the offeror should not be at liberty to revoke once the offeree had performed the act of acceptance to some extent. We do not accept that it is universally unjust that an offeror be at liberty to revoke once the offeree has "commenced" or "embarked upon" performance of an act which is both the sought act of acceptance of the offer and the sought executed consideration for the promise.

(b) A juristic basis which has been suggested to support the general proposition is that of an implied ancillary unilateral contract by which the offeror promises not to revoke once the offeree commences the act of acceptance of the principal offer. But even if such an ancillary contract should be implied in all cases, it is one thing to say that there is a contractually binding promise not to revoke and another thing to say that a purported revocation will be ineffective. The normal remedy for a revocation in breach of the ancillary contract would be an award of damages, the amount of which would be assessed, no doubt, by reference to the prospect that the act of acceptance would have been completed, and, by the same act, the offered promise duly "paid for". No doubt it might be possible for the offeree to seek specific relief in the form of an injunction restraining the offeror from revoking the offer and from preventing the offeree from providing the executed consideration. In the present case, the franchisees did not seek orders that Mobil maintain its Circle of Excellence judgings and that it not act upon or implement its purported revocation. Perhaps no one thought of doing so. Perhaps the view was taken that an application for such relief would probably fail. We make no comment as to the prospects of success which any such application would have enjoyed.

(c) It seems that the general undifferentiated proposition could produce unintended and unjust results. Assume that X made a public offer of payment for the collection and supply of information of a kind described in the offer; that A, B and C embark upon collecting the information; and that A supplies it to X. According to the general proposition, X is bound not to revoke the offer made to B and C, notwithstanding the inutility of their subsequently supplying to X the information that A has already provided. It may be replied that the terms of the offer would include an [503] implied qualification. But this very response bespeaks the inadequacy of a universal rule.

… [505] In *Veivers v Cordingley*, McPherson J [said]:

> There can be no doubt that, ordinarily an offer can be withdrawn before acceptance. It may well be a different matter if, in the case of what is commonly called a "unilateral contract", the promisee has already entered upon the act which, when completed, will constitute acceptance of the promise. The question has been much debated by text writers. The authorities in point are usefully collected in an article by Mr CD Gilbert in 46 ALJ 522, particularly at 525–6. The only decision directly in point is that of the Supreme Court of New South Wales in *Abbott v Lance* (1860) 2 Legge 1283, which was a decision of the court in Banc comprising Dickinson ACJ and Wise J …

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> It seems to me that the decision in *Abbott v Lance* is authority for propositions that, although as a general rule an offer may be retracted before acceptance, yet, if it takes the form of an offer in exchange for the doing of an act or acts, then: (1) acceptance takes place when the offeree "elects" to do the relevant act or acts; and (2) the offer becomes irrevocable once the act or acts, which will constitute consideration for the offer, have been partly performed. Applied to the present circumstances, the decision in *Abbott v Lance* would carry judgment for the plaintiffs Veivers in this case …. On the authority of *Abbott v Lance*, I consider that it was then no longer open to Cordingley to retract his promise …, and that he was bound to perform it by paying the sum of $200 000 if and when Veivers succeeded in obtaining approval from the Council.

[506] … For the reasons indicated earlier, we do not accept that there is a universal proposition that an offeror is not at liberty to revoke the offer once the offeree "commences" or "embarks upon" performance of the sought act of acceptance (being also the sought executed consideration for the offered promise). If and to the extent that any of the authorities to which we have referred say otherwise, we would respectfully disagree. In any event, even if it be assumed that an offeror has impliedly promised not to revoke in consideration of a commencement of performance of the act of acceptance, it would not follow that a purported revocation would be ineffective. On the contrary, in the absence of specific relief in respect of that promise, the offeror's revocation would be effective, although leaving the offeror liable in damages.

It should not be thought that the absence of a universal rule is unjust. In the circumstances of a particular case, it may be appropriate to find that the offeror has entered into an implied ancillary contract not to revoke, or that the offeror is estopped from falsifying an assumption, engendered by it, that the offeree will not be deprived of the chance of completing the act of acceptance.

We see no basis in the particular facts of the present case for concluding that Mobil should be taken to have offered to all those franchisees who would but commence or embark upon performing the prescribed act of acceptance of its principal offer (of a promise of nine-for-six), an ancillary promise not to revoke that offer. Several considerations support this view.

First, there is the problem of the meaning of "commencing" to attain not less than 90 per cent in Circle of Excellence judgings for all of the six calendar years 1992 to 1997. We referred, in a general context, to the nature of the problem earlier. In addition, there is a particular question arising from the nature of the specified act of acceptance in the present case: whether there can be a "commencement" only if at least one attainment of 90 per cent occurs. Perhaps, by reason of the nature of the act of acceptance (attaining 90 per cent or better in each of six successive years) mere "working towards" attaining that judging result counts for nothing in the present context. Mobil should not lightly be taken to have intended to be bound not to revoke its principal offer in favour of any franchisee who performed such an ill-defined act as "embarking upon" or "commencing" attainment of 90 per cent or better in Circle of Excellence judgings in the six years 1992–1997.

Secondly, while it is true that even part performance of the act of acceptance would be of some benefit to Mobil, it would not be only to the benefit of Mobil and to the detriment of the franchisee. Mobil was inviting franchisees to embark upon a course which would benefit both parties. In these circumstances, the case for holding Mobil bound by an implied promise not to revoke is the less strong.

Thirdly, it is unlikely that Mobil meant to promise not, throughout the period 1992 to 1997, to revoke an offer of nine years free tenure, to a franchisee which had already made the following promise to Mobil:

> (3) Adherence to Mobil Team Pak Standards
>
> Dealer acknowledges that its adherence and the adherence of other [507] Mobil dealers at all times to the Team Pak Standards, and to the policies and other requirements of the Team Pak Program is essential for the success, goodwill and reputation of the Mobil Dealer

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> network and Mobil System and the Team Pak Program. Dealer therefore agrees to comply at all times during the life of this Agreement with the Team Pak Standards, as amended and updated from time to time. Likewise, Mobil agrees to comply with its part of those Team Pak Standards.

This standard provision of the Mobil Team Pak Agreement is in fact copied from subcl 4(3) of the Mobil Team Pak Agreements dated 18 May 1990 and 12 November 1993 between Mobil and Lyndel. Whatever its technical effect for the presence or absence of consideration, the existence of this contractual obligation suggests, on the assumption that franchisees attempted to comply with it, that "to commence to attain 90 per cent or better" would involve little or no actual detriment to franchisees – his Honour found that little or no detriment had been established (see later under "Promissory estoppel issues").

In our respectful opinion, the trial judge erred in holding that Mobil was not at liberty to revoke its supposed offer of a nine-for-six promise, as made to those franchisees which had embarked upon the stipulated act of acceptance of that offer …. [508]

The stipulated executed consideration (and acceptance of the offer) was not furnished

Three issues arise in connection with the furnishing of consideration.

(1) The first is that Mobil submitted to the trial judge, and submits on the appeal, that the franchisees were already legally obliged to attain 90 per cent or better in Circle of Excellence judgings, because they were obliged, under the Team-Pak scheme, to do all the things which would have earned scores of 100 per cent. His Honour dealt with this submission shortly: "But none of the franchisees was under an extant obligation to achieve any particular level of performance in the Circle of Excellence awards." We deal below with the similar submission that in view of their existing contractual obligations, the attainment of 90 per cent or better in Circle of Excellence judgings could not constitute "detriment" for the purpose of the doctrine of promissory estoppel. Substantially for the reasons there set out, we are of the opinion that the franchisees' performance did not attract the rule that performance of an existing contractual obligation owed to the promisor cannot qualify as valuable consideration ….

(3) Mobil submits that the franchisees were not entitled to nine years additional tenure because they did not furnish the only consideration stipulated as the price of obtaining such tenure, namely, the attainment of 90 per cent or better in Circle of Excellence judgings over all six years, 1992–1997. We accept this submission and deal with it under the next side heading. [509]

The award of specific performance in the absence of the stipulated executed consideration (and acceptance of the offer)

With respect, it was erroneous to treat Lyndel, Thorpe and Wellcome as having attained 90 per cent or better in all six years: they did not do so or even promise to do so. They had therefore not done or even promised to do the one and only act for the doing of which Mobil had offered its promise. Unlike, for example, payment of money, the attainment of 90 per cent or better in Circle of Excellence judgings over six years was something which they were not able unilaterally to tender. An order for specific performance of Mobil's supposed nine-for-six promise was, in the circumstances, not available in the absence of the actual furnishing of the agreed consideration for that promise: the attainment of 90 per cent or better in Circle of Excellence judgings in all of the years 1992 to 1997: see *Colly v Overseas Exporters* [1921] 3 KB 302 at 310–11; *Heyman v Darwins Ltd* [1942] AC 356 at 371 (Lord MacMillan); *Plaimar Ltd v Waters Trading Company Ltd* (1945) 72 CLR 304 at 318; *Automatic Fire Sprinklers Pty Ltd v Watson* (1946) 72 CLR 435 esp at 465–7 (Dixon J), 476–7 (Williams J); *City Motors (1933) Pty Ltd v Southern Aerial Super Service Pty Ltd* (1961) 106 CLR 477 and *Bolwell Fibreglass Pty Ltd v Foley* [1984] VR 97 at 112 (FC) (Brooking J).

The foregoing propositions hold good, even if it be correct that Mobil had impliedly promised not to revoke its offer. With respect, we think that, given the other conclusions of the trial judge in favour of Lyndel, Thorpe and Wellcome, the appropriate course was for his Honour to make an award of

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damages for any loss and damage which Mobil's repudiation of the ancillary contract caused each of them to suffer. The amount of damages would have been based on the value of the lost opportunity of obtaining the additional nine years tenure. The assessment would have had to allow for the possibility that the franchisee would not have continued to score 90 per cent or better in 1996 or 1997 or both, and so failed to "win" any additional tenure.

The franchisees did not seek an order compelling Mobil to continue with Circle of Excellence judgings promptly after the abandonment of those judgings was announced early in 1996, and they have not done so since. We make no comment as to whether Mobil's supposed implied promise to provide those judgings from 1992 to 1997 was a promise which, of its nature, would have been susceptible to an order for specific performance. The franchisees sought specific performance only of the principal promise, relevantly, to grant nine years tenure. They were not entitled to that remedy in circumstances in which they had not furnished, and were not in a position to furnish, the consideration for it. Therefore, they were not entitled to the order which the learned trial judge made that Mobil grant them a renewal for nine years …. [510]

3. Promissory estoppel issues

General principles

[3.80] The principles on which remedies based on equitable estoppel, including promissory estoppel, are available are by no means clear or precise. This is reflected in the substantial developments in the case law, particularly over the past two decades, and in the extensive range of discussions and articles on this topic over that period. The relief is broadly grounded in the notion of unconscionability, but the ways in which the principles are applied to specific circumstances have been the subject of differing formulations. This area of equity is still in the process of development and extension ….

In *Austotel*, a decision discussed by the trial judge in some detail in his preliminary reasons in this case, Priestley JA considered the line of authority in relation to estoppel, which had developed from the Privy Council decision in *Plimmer v City of Wellington* (1884) 9 App Cas 699. Although, in the final result, Priestley JA dissented, his distillation of the relevant principles was accepted as "cogent" by a Full Court of this Court in *S & E Promotions Pty Ltd* at 653. He considered that *Plimmer* was (at 604):

> … a clear example, where a plaintiff, despite being unable to point to some agreement which, although unenforceable, contains precise terms describing what he expected from the defendant, has nevertheless been held to be entitled to equitable relief which may be of a proprietary kind.

He then formulated the relevant proposition as to equitable estoppel in the following terms (at 610):

> For equitable estoppel to operate there must be the *creation or encouragement* by the defendant in the plaintiff *of an assumption* that a contract will come into existence or a promise be performed *or an interest granted to the plaintiff* by the defendant, and reliance on that by the plaintiff, in circumstances where departure from the assumption by the defendant would be unconscionable. (Emphasis added)

…

The representations

In our view, for the purpose of determining the estoppel submission, it does not matter whether the formulation of Brennan J in *Waltons* or that of Priestley JA in *Austotel* is applied. While the difference may, in particular cases, lead to different results, in the present case it does not. On either approach, it is a necessary element of the principle that the defendant has created or encouraged an assumption that "a particular legal relationship" or "an interest" would arise or be granted by the respondent if certain things are done or not done by the applicant in reliance thereon and that it is contrary to good conscience for the defendant to depart from the assumption.

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In order to determine the appeal on the estoppel issue, it is necessary to consider whether the statements as to the one-for-one and nine-for-six proposals were sufficiently unqualified, firm and specific so as to induce an assumption that "a particular legal relationship" would be established or an "interest" would be granted …. [515]

Nine-for-six

[3.85] The nine-for-six proposal was raised by Mr Stumbles as a "may be" alternative to the one-for-one proposal, which the PRMF Act was said to have made "very very difficult" to operate.

There was a reference to a "lot more work" in relation to the nine-for-six proposal. This is not simply a case of "fine tuning" as the franchisees suggest. The difficulty for the applicants is not that the promise is not fully spelt out but rather that there was no promise made at all as to the nine-for-six proposal. The immediately ensuing commitment mentioned after reference to the nine-for-six statement was to the implementation of a process directed towards finding a way of somehow extending tenure for an indefinite period automatically and without costs if there was a consistent achievement of 90 per cent over an unspecified period.

In our view, such a generalised commitment to find a way to implement an appropriate tenure for achievement scheme cannot, in the present context, give rise to an expectation of either a "particular legal relationship" coming into existence or the grant of an identifiable "interest", to use the language of *Waltons* and of *Plimmer*. The essential elements and details of the legal relationship are lacking as are any specific details relating to the duration or terms of any extension or renewal or of the period over which the franchisees would qualify. Nor can such an indeterminate possibility be regarded as an expression of an intent that any particular incentive scheme will be formulated or implemented. No provision is made as to any objective or subjective criteria or to any person or entity by reference to which, or by whom, the nature, extent, duration or terms of any grant can be rendered reasonably certain. The substantial disparity in terms and in effect between the one-for-one proposal and the nine-for-six proposal mentioned by Mr Stumbles, itself highlights the range of widely varying alternatives which might result from subsequent elaboration of the scheme.

The "less precise" approach identified in *Plimmer* by Priestley JA does not, in our view, support a submission that there is "sufficient" certainty in the "promise" or "encouragement" with respect to the "finding a way" commitment, to attract the operation of the doctrine of equitable estoppel. The lack of information as to the contents of the proposal is too pronounced. In particular, there is a lack of information as to the period of qualifying performance and the duration, and extent of the interest to be granted.

The decisions which apply the *Plimmer* approach are cases which involve expenditures made on the property of another person, or alternatively, involve an injustice arising from the taking advantage of such expenditure by the defendant. Where there has been such expenditure it will often be possible to identify, with reasonable certainty, the amount or value of the expenditure or the value of work done on the property in question, so that some reasonably precise determination can be made as to what relief is called for in order to redress or remove the detriment. Plimmer itself provides a clear example. In that case the plaintiff had been encouraged to expend money to provide a jetty at the request of the defendant.

For the above reasons, we consider that his Honour erred in law in concluding that the statements or conduct of Mobil were sufficiently specific and unqualified to attract the application of equitable estoppel in relation to the nine-for-six proposal ….

Detriment

His Honour found that there was some additional cost to Lyndel, Thorpe and Wellcome in their setting out to achieve the 90 per cent standard, but concluded that this was comparatively small and was not sufficient, when considered in the light of the "rewards" offered by Mobil, to justify a finding that

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it exceeded the reward offered. Nor could it justify the relief sought, namely a nine-for-six extension, because such relief is disproportionate to the detriment.

The principles of equitable estoppel are directed to redress the detriment which a party might otherwise sustain as a result of the departure from an assumption on which the plaintiffs acted with encouragement from the defendant. It is intended to relieve against the detriment suffered and not to make good an expectation.

This "minimum equity" aspect of equitable estoppel was discussed in considerable detail by the High Court in *Verwayen* at 413, 429, 442–3, 461, 487 and 501. In discussing the purpose and extent of estoppel, Mason CJ said (at 413):

> A central element of that doctrine is that there must be a proportionality between the remedy and the detriment which is its purpose to avoid. It [517] would be wholly inequitable and unjust to insist upon a disproportionate making good of the relevant assumption.

… A similar approach is favoured by Meagher, Gummow & Lehane, *Equity Doctrines & Remedies* (3rd ed, 1992), pars 1723–6 inclusive …. McHugh J in *Verwayen* also referred to the principle that in moulding its decree the court, as a court of conscience, goes no further than is necessary to prevent unconscionable conduct and that a court of equity will only require the promise or expectation to be fulfilled if that is the only way in which the equity can be satisfied. This approach was recently applied by the English Court of Appeal in *Sledmore v Dalby* (1996) 72 P & CR 196 at 208–9; see also Andrew Robertson, "Satisfying the Minimum Equity: Equitable Estoppel Remedies after Verwayen" (1996) 20 MULR 805.

The present case

In his judgment in the present case, although he considered there was some evidence of additional cost, the trial judge concluded that the nine-for-six relief claimed was not an available remedy to make good the detriment which the applicants suffered when considered against the "rewards" offered by Mobil.

Mobil submits that the franchisees were already committed to comply 100 per cent with the Team-Pak requirements and that therefore, any attempt to achieve 90 per cent could not constitute detriment. Indeed, acquiescence by Mobil in attainment of only 90 per cent represented, according to the submission, a relaxation of an existing obligation, rather than an imposition. We do not accept the submission. It is apparent, from a practical, commercial point of view, that the incentive scheme was based on Mobil's acceptance that 90 per cent compliance would represent an achievement over and above what was presently being obtained and accepted as adequate. Uncontradicted evidence given by dealers was that special efforts were made to achieve more than what would otherwise have been accepted by Mobil as a sufficient performance.

We now turn to the detriment case advanced by the five individual franchisees.

Lyndel

[3.90] The detriment claimed to have been suffered by Lyndel as a result of the implementation of the nine-for-six proposal included additional work, expense and loss of income.

Lyndel's case was that it increased the levels of staff after the August 1991 speech in order to attract the extension of tenure. In addition, it claimed to have paid additional wages, to the extent of $14 000 per annum, to meet and maintain the standards required by the Circle of Excellence proposal. Mr Morris retained the services of his retired father to assist him to achieve the 90 per cent score. There were also said to be expenses incurred and time spent [519] on staff training and the provision of staff uniforms. There were extra attendants at the premises necessary to meet random inspections by "mystery buyers" calling at the behest of Mobil. There were also said to be extra additional costs incurred in advertising, marketing and other promotion efforts. Losses were said to arise from discounting. There were further costs and losses in respect of Lyndel's preferring Mobil products over those of competitors, of dealing with additional constraints due to a requirement to

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buy through a central ordering body and in complying with Mobil's requirements as to a credit card system. A further matter was the losses from theft which were said to have arisen from Mobil's requirement that oils be displayed outside in prominent view.

Mobil's response to these claims is that they are, in their totality, relatively minor and not proportionate to the remedy of an automatic nine-for-six extension at no cost. Many of the matters raised were simply sound and desirable business practices. They were inherently likely to, and did in fact, lead to increased turnover, sales and profitability. For instance, cleanliness, uniforms, random inspections, staff training, performance reports, advertising and promotion, are all processes calculated to enhance the viability of the operator's business and profitability. Although there was no detailed or specific evidence as to amounts, Lyndel referred to increases in staff levels. However, there was evidence that there was no overall increase after the August 1991 speech, nor was there evidence of any material impact on profitability. As his Honour pointed out, Mr Morris spoke of Mobil approved products costing a "few more dollars".

In our view there is force in the submissions that much of the expenditure and efforts were of a nature which might reasonably be expected to lead to increased profitability and efficiency in day-to-day operations. The additional efforts and expenditures on the part of Lyndel were not directed to capital improvements to the premises which would enure to the benefit of Mobil in a proprietary sense. In that respect they are different from the benefits which, but for the relief sought, would accrue in a *Plimmer* sense, where expenditure was incurred on the land of another which would increase its value.

Against the detriment outlined above, his Honour took into account the offer by Mobil to pay the sum of $32 209 compensation by way of reward in respect of the 1992 and 1993 years in which the 90 per cent Circle of Excellence level had been achieved by Lyndel. The question of the degree of detriment, is of course, one of fact which cannot be precisely spelt out.

Having considered the evidence concerning Lyndel and the submissions made in relation to that evidence, we consider that it was open to his Honour to conclude that the detriment was not proportionate to the grant of the nine year extension …

Conclusion

[3.95] On the estoppel claim we conclude:

1. There was no one-for-one assurance or promise which activated the principles of estoppel.
2. There was no nine-for-six assurance or promise which activated the principles of estoppel.
3. The general commitment to "find a way" was not certain enough to ground an estoppel.
4. The trial judge did not err in concluding that there was no detriment which could attract the
5. application of estoppel.
6. The applicants have not made out any estoppel case against Mobil.

Appeal allowed.

ACCEPTANCE

Relationship between the offer and acceptance

[3.100] To form a contract, the acceptance must be made in response to the offer. In the case of a bilateral contract, the very nature of the acts of offer and acceptance will usually ensure that there will be little debate as to whether what the offeree undertakes is undertaken in

response to the offer proffered by the offeror. (For example, Offeror: "I will sell you this car for $5 000. You can pay and take delivery on Friday." Offeree: "It's a deal.")

In the case of a unilateral contract, however, it may not always be clear whether the acts presented as acceptance of the offer were done in response to the offer or for some independent reason.

The Crown v Clarke

[3.105] *The Crown v Clarke* (1927) 40 CLR 227 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: The respondent, *Clarke*, had claimed £1,000 from the Crown in the following circumstances. In May 1926, the Commissioner of Police gave notice by proclamation that he was authorised by the government of Western Australia "to offer a reward of £1 000 for such information as shall lead to the arrest and conviction of the persons who committed the murders" of an inspector of police and a sergeant of police, and that the Governor would be advised to extend a free pardon to any accomplice not being the person who actually committed the murders who should first give the information. In June, Treffene and Clarke were arrested and charged with one of the murders. Four days later Clarke, who had seen the proclamation, made a statement which led to the arrest of one Coulter. Coulter and Treffene were convicted of the murder, Clarke giving evidence in accordance with his statement. Clarke was released and claimed the reward. The Crown alleged by way of defence that his statement was not made with a view to obtaining the reward. His petition was dismissed at first instance, the judge finding that he had not acted on the faith of or in reliance upon the offer made in the proclamation or with any intention of entering into any contract, but rather that he acted to save himself from the unfounded charge of murder. The Full Court of the Supreme Court of Western Australia upheld an appeal against this decision. The Crown appealed.]

ISAACS ACJ: [231] The facts of this case, including inferences, are not, as I understand, in dispute. They amount to this: The information for which Clarke claims the reward was given by him when he was under arrest with Treffene on a charge of murder, and was given by him in circumstances which show that in giving the information he was not acting on or in pursuance of or in reliance upon or in return for the consideration contained in the proclamation, but exclusively in order to clear himself from a false charge of murder. In other words, he was acting with reference to a specific criminal charge against himself, and not with reference to a general request by the community for information against other persons. It is true that without his information and evidence no conviction was probable, but it is also abundantly clear that he was not acting for the sake of justice or from any impulse of conscience or because he was asked to do so, but simply and solely on his own initiative, to secure his own safety from the hand of the law and altogether irrespective of the proclamation. He has, in my opinion, neither a legal nor a moral claim to the reward. The learned Chief Justice held that [232] Clarke never accepted or intended to accept the offer in the proclamation, and, unless the mere giving of the information without such intention amounted in law to an acceptance of the offer or to performance of the condition, there was neither "acceptance" nor "performance", and therefore there was no contract. I do not understand either of the learned judges who formed the majority to controvert this. But they held that *Williams v Carwardine* (1833) 4 B & Ad 621; 110 ER 590, has stood so long that it should be regarded as accurate, and that, so regarded, it entitled the respondent to judgment. As reported in the five places where it is found it is a difficult case to follow. I cannot help thinking that it is somewhat curtly reported. When the various reports in banc are compared, there are some discrepancies. But two circumstances are important. One is the pregnant question of Denman CJ as to the plaintiff's knowledge of the handbill … The other circumstance is the stress placed on motive. The Lord Chief Justice clearly attached importance to the answer given to his question. He, doubtless, finally drew the inference that, having knowledge of the request in the handbill, the plaintiff at last determined to accede, and did accede, to that request, and so acted in response to it, although moved thereto by the incentive supplied by her stings of conscience. Making allowance for what is in all probability an abridged report of what was actually said, I cannot

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help thinking, on the whole, that not only Denman CJ but also some at least of the other members of the court considered that the motive of the informant was not inconsistent with, and did not in that case displace, the prima facie inference arising from the fact of knowledge of the request and the giving of the information it sought. Motive, though not to be confused with intention, is very often strong evidence of that state of mind, both in civil and criminal matters. The evidentiary force of motive in the circumstances of *Williams v Carwardine* is no criterion of its force in the circumstances of any other case, and it can never usurp the legal place of intention. [233] If the decision in *Williams v Carwardine* went no further than I have said, it is in line with the acknowledged and settled theories of contract. If it goes so far as is contended for by the respondent, I am of opinion that it is opposed to unimpeachable authority … It is unquestionable – putting aside what are called formal contracts or quasi-contracts – that to create a contractual obligation there must be both offer and acceptance. It is the union of these which constitutes the binding tie, the *obligatio*. The present type of case is no exception. It is not true to say that since such an offer calls for information of a certain description, then, provided only information of that description is in fact given, the informant is entitled to the reward. That is not true unless the word "given" is interpreted as "given in exchange for the offer" – in other words, given in performance of the bargain which is contemplated by the offer and of which the offer is intended to form part. Performance in that case is the implied method of acceptance, and it simultaneously effects the double purpose of acceptance and performance. But acceptance is essential to contractual obligation, because without it there is no agreement, and in the absence of agreement, actual or imputed, there can be no contract …

That acceptance is necessary in a case of this kind is recognised in *General Accident Fire and Life Assurance Corp v Robertson* [1909] AC 404 at 411, a case sufficiently analogous to be illustrative here, though of course the mode of acceptance was very different. That difference constantly arises because the offeror may always prescribe the method of acceptance. In *Attorney-General (Trinidad) v Bourne* [1895] AC 83 at 88, the method was to tender payment of a balance of a price. In other cases it may be the posting of a letter, or the dispatch of goods, or anything stipulated expressly or by implication, even by hanging out a flag, as suggested by Bramwell LJ in *Household Fire Insurance Co v Grant* (1879) 4 Ex D 216 at 233. The method indicated by the offeror may [234] be one which either does or does not involve communication to him of the acceptance in order to form the contract and create the obligation, however necessary information of the fact may be required before default in payment, that is, in performance by the offeror, can arise.

[His Honour then referred to several authorities and continued:] The controlling principle, then, is that to establish the *consensus* without which no true contract can exist, acceptance is as essential as offer, even in a case of the present case where the same act is at once sufficient for both acceptance and performance. But acceptance and performance of condition, as shown by the judicial [235] reasoning quoted, involve that the person accepting and performing must act on the offer …

Instances easily suggest themselves where precisely the same act done with reference to an offer would be performance of the condition, but done with reference to a totally distinct object would not be such a performance. An offer of £100 to any person who should swim 100 yards in the harbour on the first day of the year, would be met by voluntarily performing the feat with reference to the offer, but would not in my opinion be satisfied by a person who was accidentally or maliciously thrown overboard on that date and swam the distance simply to save his life, without any thought of the offer. The offeror might or might not feel morally impelled to give the sum in such a case, but would be under no contractual obligation to do so …

[3.110] HIGGINS J: [241] I have been struck by the resemblance of the position to that of an action based on misrepresentation. The statement of claim must allege and show that the plaintiff acted in reliance on the misrepresentation. If the defendant can establish that the plaintiff did not rely on the misrepresentation, the plaintiff fails. In *Smith v Chadwick* (1882) 20 Ch D 27 at 44, Jessel MR said: "if the court sees on the face of" the statement "that it is of such a nature as would induce a person to enter into the contract, or would tend to induce him to do so, … the inference is, if he entered into the contract, that he acted on the inducement so held out, … but even then you may show that in fact

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he did not so act, … by showing *that he avowedly did not rely upon*" *the misstatement [sic] "whether he knew the facts or not."* …

I need not dilate at length on the now classic case of *Carlill v Carbolic Smoke Ball Co*. It is quite consistent with the view [242] which I have stated. The facts were not in dispute and one of the facts was that the plaintiff had bought the smoke balls *on the faith of* the advertisement. This important fact is stated again in the report on appeal; and it is just the fact which is not, and could not be, found under the circumstances of this case. My view is that Clarke did not act *on the faith of, in reliance upon*, the proclamation; and that although the exact fulfilment of the conditions stated in the proclamation would raise a presumption, that Clarke was acting on the faith of, in reliance upon, the proclamation, the presumption is rebutted by his own express admission …

[3.115] STARKE J: [244] In my opinion the true principle applicable to this type of case is that unless a person performs the conditions of the offer, acting upon its faith or in reliance upon it, he does not accept the offer and the offeror is not bound to him. As a matter of proof any person knowing of the offer who performs its conditions establishes prima facie an acceptance of that offer. And probably … the performance of some of the conditions required by the offer also establishes prima facie an acceptance of that offer, but does not of course establish the right of the person so performing some of the conditions of the offer to the reward until he has completely performed them all according to the proper construction of the offer. From such facts an acceptance is probable but it is not, as was urged, "an absolute proposition of law" that one, who, having the offer before him, acts as one would naturally be induced to act, is deemed to have acted on the faith of or in reliance upon that offer. It is an inference of fact and may be excluded by evidence. The statements or conduct of the party himself uncommunicated to the other party, or the circumstances of the case, may supply that evidence. Ordinarily, it is true, the law judges of the intention of a person in making a contract by outward expression only by words or acts communicated between them. But when the offeror, as in the anomalous case under consideration, has dispensed with any previous communications to himself of the acceptance of the offer the law is deprived of one of the means by which it judges of the intention of the parties, and the performance of the conditions of the offer is not in all cases conclusive for they may have been performed by one who never hears of the offer or who never intended to accept it. Hence the statements or conduct of the party himself uncommunicated to the other party are admissible to show the circumstances under which an act, seemingly within the terms of the offer, was done and the inducement which [245] led to the act. In the present case the statements of the petitioner himself satisfied the Chief Justice that he did not act on the faith of or in reliance upon the offer and we are unable to disturb that finding.

Appeal allowed.

Communication of acceptance

Silence and acceptance inferred from conduct

Felthouse v Bindley

[3.120] *Felthouse v Bindley* (1862) 11 CB (NS) 869; 142 ER 1037 (Court of Common Pleas) – Rule nisi for nonsuit.

[FACTS: After some discussion the plaintiff wrote to his nephew, John, offering to buy the latter's horse for £30 15s 0d, adding: "If I hear no more about him I shall consider the horse mine at £30 15s 0d." The nephew did not answer this letter but six weeks later an auctioneer employed by John to sell his farming stock sold the horse. John had directed the auctioneer not to sell the horse, saying that

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it had already been sold, but the auctioneer sold it by mistake. The plaintiff sued the auctioneer in conversion and obtained the verdict. The defendant obtained a rule nisi to enter a nonsuit.]

WILLES J: [875] I am of opinion that the rule to enter a nonsuit should be made absolute. The horse in question had belonged to the plaintiff's nephew, John Felthouse. In December 1860, a conversation took place between the plaintiff and his nephew relative to the purchase of the horse by the former. The uncle seems to have thought that he had on that occasion bought the horse for £30, the nephew that he sold it for 30 guineas; but there was clearly no complete bargain at that time. On 1 January 1861, the nephew writes:

> I saw my father on Saturday. He told me that you considered you had bought the horse for £30. If so, you are labouring under a mistake, for 30 guineas was the price I put upon him, and you never heard me say less. When you said you would have him, I considered you were aware of the price.

To this his uncle replies on the following day: "Your price, I admit, was 30 guineas. I offered £30; never offered more: and you said the horse was mine. However, as there may be a mistake about him, I will split the difference. If I hear no more about him, I consider the horse mine at £30 15s."

It is clear that there was no complete bargain on 2 January; and it is also clear that the uncle had no right to impose upon the nephew a sale of his horse for £30 15s unless he chose to comply with the condition of writing to repudiate the offer. The nephew might, no doubt, have [876] bound his uncle to the bargain by writing to him: the uncle might also have retracted his offer at any time before acceptance. It stood an open offer: and so things remained until 25 February, when the nephew was about to sell his farming stock by auction. The horse in question being catalogued with the rest of the stock, the auctioneer (the defendant) was told that it was already sold. It is clear, therefore, that the nephew in his own mind intended his uncle to have the horse at the price which he (the uncle) had named – £30 15s – but he had not communicated such his intention to his uncle, or done anything to bind himself. Nothing, therefore, had been done to vest the property in the horse in the plaintiff down to 25 February, when the horse was sold by the defendant. It appears to me that, independently of the subsequent letters, there had been no bargain to pass the property in the horse to the plaintiff, and therefore that he had no right to complain of the sale. Then, what is the effect of the subsequent correspondence? The letter of the auctioneer amounts to nothing. The more important letter is that of the nephew, of 27 February, which is relied on as shewing that he intended to accept and did accept the terms offered by his uncle's letter of 2 January. That letter, however, may be treated either as an acceptance then for the first time made by him, or as a memorandum of a bargain complete before 25 February, sufficient within the *Statute of Frauds*. It seems to me that the former is the more likely construction: and, if so, it is clear that the plaintiff cannot recover. But, assuming that there had been a complete parol bargain before 25 February, and that the letter of the 27th was a mere expression of the terms of that prior bargain, and not a bargain then for the first time concluded, it would be directly [877] contrary to the decision of the Court of Exchequer in *Stockdale v Dunlop* (1840) 6 M & W 224; 151 ER 391, to hold that that acceptance had relation back to the previous offer so as to bind third persons in respect of a dealing with the property by them in the interim.

Rule absolute.

Empirnall Holdings v Machon Paull Partners

[3.125] *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 523 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Smart J.

[FACTS: *Empirnall*, a property developer, retained architects Machon Paull (*Machon*) to draw plans, obtain approvals, and do other work in connection with a property redevelopment. Empirnall then

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asked Machon Paull if they would be interested in acting as project manager for the development. Machon Paull replied in the affirmative. Further work was done and the architects requested a progress payment and the execution by Empirnall of a contract for the works. They were told to submit the progress claim but were informed that "Mr Jury" (a director and the major shareholder of Empirnall) "does not sign contracts".

On 3 October 1983, the architects sent a letter to Empirnall which stated: "As discussed we enclose two copies of the building cost plus contract … and we ask that you arrange for them to be signed and return one copy as soon as possible."

Work continued and on 15 October 1983, Machon Paull submitted a second claim for payment which was duly paid. On 19 October 1983, they wrote to Empirnall's agent in the following terms:

> We are in receipt of the building approval and a copy of the conditions are enclosed for your information … With reference to our letter dated 3 October 1983, concerning the return of the signed contracts, we are proceeding on the understanding that the conditions of the contract are accepted by you and works are being conducted in accordance with those terms and conditions.

By the time the matter reached the Court of Appeal, the only question was whether there was a contract in the terms of the draft agreement sent by Machon Paull. This draft contained a provision charging the architects' fees and costs on the land the subject of the development. Empirnall had admitted that the sum claimed was owing under an oral contract.]

McHUGH JA: [534] Under the common law theory of contract, the silent acceptance of an offer is generally insufficient to create any contract … The objective theory of contract requires an external manifestation of assent to an offer. Convenience, and especially commercial convenience, has given rise to the rule that the acceptance of the offer should be communicated to the offeror. After a reasonable period has elapsed, silence is seen as a rejection and not an acceptance of the offer. Nevertheless, communication of acceptance is not always necessary. The offeror will be bound if he dispenses with the need to communicate the acceptance of his offer. However, an offeror cannot erect a contract between himself and the offeree by the device of stating that unless he hears from the offeree he will consider the offeree bound. He cannot assert that he will regard silence as acceptance: *Felthouse v Bindley* (1862) 11 CB (NS) 869 at 875; 142 ER 1037 at 1040. The common law's concern with the protection of freedom is opposed to the notion that a person must take action to reject an uninvited offer or be bound by contractual obligations.

Nevertheless, the silence of an offeree in conjunction with the other circumstances of the case may indicate that he has accepted the offer. The offeree may be under a duty to communicate his rejection of an offer. If he fails to do so, his silence will generally be regarded as an acceptance of the offer sufficient to form a contract. Many cases decided in United States jurisdictions have held that the custom of the trade, the course of dealing, or the previous relationship between the parties imposed a duty on the offeree to reject the offer or be bound. [535] But more often than not the offeree will be bound because, knowing of the terms of the offer and the offeror's intention to enter into a contract, he has exercised a choice and taken the benefit of the offer. In *Laurel Race Course Inc v Regal Construction Co Inc* 333 A 2d 319 (1975) a contractor proposed that it would do additional work upon the basis that, if the work was the result of its defective workmanship under the original contract, there would be no charge. Otherwise the work would be charged on a "cost-plus" basis. The building owner made no reply to this offer. The contractor commenced work on the job to the knowledge of the building owner who was held bound by the terms of the offer. Speaking for the Court of Appeals for Maryland, Judge Levine said (at 329):

> Where the offeree with reasonable opportunity to reject offered services takes the benefit of them under circumstances which would indicate to a reasonable person that they were offered with the expectation of compensation, he assents to the terms proposed and thus accepts the offer.

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This formulation states acceptance in terms of a rule of law. However, the question is one of fact. A more accurate statement is that where an offeree with a reasonable opportunity to reject the offer of goods or services takes the benefit of them under circumstances which indicate that they were to be paid for in accordance with the offer, it is open to the tribunal of fact to hold that the offer was accepted according to its terms. A useful analogy is to be found in the "ticket cases" where an offeree, who has or ought to have knowledge of the terms of a contract of carriage or bailment, is generally bound unless he raises objection: compare *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 at 169 and *MacRobertson Miller Airline Services v Commissioner of State Taxation* (WA) (1975) 133 CLR 125 at 136–40.

The ultimate issue is whether a reasonable bystander would regard the conduct of the offeree, including his silence, as signalling to the offeror that his offer has been accepted …

In [the] circumstances Empirnall's acceptance of the work, when [536] considered objectively, should be taken as an acceptance of the work on the terms and conditions offered by Machon. The case is not so much one of acceptance by silence as one of taking the benefit of an offer with knowledge of its terms and knowledge of the offeror's reliance on payment being made in return for his work. Since the work for which payment is outstanding was carried out after 19 October 1983, there is no need to distinguish between the positions before and after that date.

Empirnall relied on Mr Abrahams' statement that "Eric does not sign contracts". However, this statement supports, rather than weakens, Machon's case. The objection was not to the terms and conditions but to the manner of acknowledging them. But, however this may be, the letter of 19 October sent one month later made clear what was the basis on which Machon was offering to perform the work. Since Empirnall has taken the benefit of the work with knowledge of the terms on which it was offered, an objective bystander would conclude that Empirnall had accepted the offer on those terms and conditions.

[KIRBY P delivered a judgment to substantially the same effect. SAMUELS JA agreed with McHUGH JA.]

Appeal dismissed.

Brambles Holdings v Bathurst City Council

[3.130] *Brambles Holdings Ltd v Bathurst City Council* [2001] NSWCA 61; (2001) 53 NSWLR 153 (Supreme Court of New South Wales, Court of Appeal) – Appeal from Hodgson CJ in Equity.

[FACTS: In 1982, Brambles, the *defendant/appellant*, and the Council, the *plaintiff/respondent*, entered into a contract for the defendant to manage the plaintiff's Solid Waste Disposal Depot. In about 1985, the defendant started to receive liquid waste at the Depot, and to charge for its acceptance. The defendant retained this money.

Before the first contract between the parties expired, the defendant tendered for a new contract and the plaintiff accepted the tender. However, after the expiration of the first contract on 1 November 1989, the parties continued to undertake negotiations in relation to the terms of the second contract. On 20 February 1990, the plaintiff wrote to the defendant stating that it was "appropriate" for the defendant to increase liquid waste fees to a certain level (1.1 cents/litre) upon completion of a liquid waste disposal area.

The parties entered into the second contract on 12 July 1990. Clauses 21 and 22 of the second contract specified the fee to be charged for "general commercial waste" and required a portion of that fee to be remitted to the plaintiff. On 19 September 1991, the plaintiff wrote to the defendant stating that it had resolved to increase liquid waste fees and that "additional income" should be

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placed in a fund for the establishment of a Liquid Waste Treatment Plant. The defendant responded in a letter dated 3 October 1991, by denying that the contract between the parties covered liquid waste. The defendant proceeded to charge liquid waste fees at the rate set out in the plaintiff's mid-September 1991 letter, but continued to retain the moneys. In 1996, the plaintiff sued the defendant in relation to the retained liquid waste fees. The trial judge entered judgment in favour of the plaintiff, and ordered the defendant to pay damages to the plaintiff.]

MASON P: [155] I agree with Ipp AJA's reasons as to the disposition of the contractual claim. As Heydon JA demonstrates, this case shows the difficulties of pressing too far classical theory of contract formation based upon offer and acceptance (see also *Pobjie Agencies Pty Ltd v Vinidex Tubemakers Pty Ltd* [2000] NSWCA 105).

HEYDON JA:

The trial judge's reasoning

[3.135] [161] [The trial judge] held that the 12 July 1990 agreement, in establishing fees for general commercial waste under cl 21, established fees for liquid waste, and prohibited the defendant from charging any other fees. That meant that the defendant was in breach of contract from 1 October 1991 on, but the Council could not point to any loss stemming solely from breach of the 12 July 1990 contract. The trial judge found that the loss could be recovered by reason of the second stage in his reasoning.

The second stage turned on a conclusion that the letter of 19 September 1991 was an offer which, though it was not accepted by the defendant's letter of 3 October 1991, was accepted by the defendant's conduct in charging the rates specified. This entitled the defendant to charge 6 cents, but only retain 1.1 cents. He held it was entitled to retain 1.1 cents because that was the figure permitted by the Council's letter of 20 February 1990 once the condition stipulated – "completion of an appropriate liquid waste disposal area" – was satisfied, which he held was the case ….

The 12 July 1990 contract

[3.140] [162] The defendant's first line of attack on the trial judge's reasoning related to his findings about the 12 July 1990 contract ….

[163] The defendant submitted that the trial judge "failed to apply conventional and accepted principles of the law of contract". He was said to have done so in three respects: failure to apply the principles as to the implication of terms; straining the contractual language; and failing to have proper regard to the factual matrix. An evaluation of these criticisms depends in part on bearing in mind what are the conventional and accepted principles of the law of contract relating to the problems in this case. These will be noted before the three criticisms are discussed.

To some extent the defendant's arguments turned on appeals to the conduct of the parties before the contract was made on 12 July 1990, to their conduct after the contract was made on that date, to their subjective beliefs and to submissions about the implication of terms. The first relevant principle of law is that pre-contractual conduct is only admissible on questions of construction if the contract is ambiguous and if the pre-contractual conduct casts light on the genesis of the contract, its objective aim, or the meaning of any descriptive term: *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 at 347–52.

[164] The second relevant principle is that post-contractual conduct is admissible on the question of whether a contract was formed: *Howard Smith & Co Ltd v Varawa* (1907) 5 CLR 68 at 77; *Barrier Wharfs Ltd v W Scott Fell & Co Ltd* (1908) 5 CLR 647 at 668, 669 and 672; *B Seppelt & Sons Ltd v Commissioner for Main Roads* (1975) 1 BPR 9,147at 9,149 and 9,154–6; *Film Bars Pty Ltd v Pacific Film Laboratories Pty Ltd* (1979) 1 BPR 9,251 at 9,255. The third relevant principle is that post-contractual conduct is not admissible on the question of what a contract means as distinct from the question of whether it was formed. As explained by Priestley JA (Meagher JA agreeing) in *Hide & Skin Trading Pty Ltd v Oceanic Meat Traders Ltd* (1990) 20 NSWLR 310 at 326–30, the status of the relevant High Court

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authorities is unclear: hence unless it is demonstrated that the later decisions of the Victorian Full Court and Court of Appeal against admissibility, *Ryan v Textile Clothing & Footwear Union of Australia* [1996] 2 VR 235 and *FAI Traders Insurance Co Ltd v Savoy Plaza Pty Ltd* [1993] 2 VR 343, are clearly wrong or they are overruled, they should be followed in New South Wales. No attempt was made to demonstrate that they are clearly wrong.

The fourth relevant principle is that the construction of a contract is an objective question for the court, and the subjective beliefs of the parties are generally irrelevant in the absence of any argument that a decree of rectification should be ordered or an estoppel by convention found. No argument of these kinds was advanced in this case.

The fifth relevant principle is that terms may be implied in one of four ways. The trial judge set out this orthodox classification in his unreported interlocutory judgment in *Carlton & United Breweries Ltd v Tooth & Co Ltd*, which was quoted by Young J, the trial judge in that case (1986) 7 IPR 581 at 605–6:

> A more precise classification of the different types of implied terms was given by Hodgson J in his first interlocutory judgment in the current proceedings. His Honour set out four classes of implied terms, the first two of which are in the class of terms implied in law, the second two the implied terms in fact. His Honour said:
>
> There is a spectrum of different types of implied terms covering, inter alia, the following:
>
> (i) Implications contained in the express words of the contract: see *Marcus Clarke (Vic) Ltd v Brown* (1928) 40 CLR 540 at 553–4.
>
> (ii) Implications from the "nature of the contract itself" as expressed in the words of the contract: see *Liverpool City Council v Irwin* [1977] AC 239.
>
> (iii) Implications from usage (for example, mercantile contracts).
>
> (iv) Implications from considerations of business efficacy: see *BP Refinery (Westernport) Pty Ltd v Hastings Shire Council* (1977) 52 ALJR 20 at 26; *Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337.

The reasoning of the trial judge conformed to these principles. The submissions of the defendant did not. [165]

(a) Implication of terms to give business efficacy

The criticism based on failure to apply the principles as to the implication of terms fastened on the fact that the trial judge described what he did as a "drawing out of what is implied by the language of the contract itself". The defendant cited the leading cases about implying terms to give business efficacy and developed arguments designed to show that the terms found by the trial judge were not reasonable, equitable, necessary or obvious. This criticism is entirely baseless. The trial judge made it plain that he was not implying a term to give business efficacy. He said: "This is not an implication of a term by operation of law or on the basis of business efficacy; but rather the drawing out of what is implied by the language of the contract itself."

The trial judge was indicating that, of the four implications he had referred to in *Carlton & United Breweries Ltd v Tooth & Co Ltd*, he was not making implication (ii) or (iv), but (i). Despite the number of occasions on which the defendant said that what the trial judge "was really doing was implying a term and on a basis that didn't comply with the usual rules", the processes he employed were processes of construction.

(b) Straining the contractual language?

The second criticism was that the trial judge's construction strains the language of the contract. The first substantive argument advanced by the defendant in support of this criticism was put thus (written submissions para 30):

> To suggest, as his Honour does, that liquid waste is "general commercial waste" within the meaning of cl 21 is to strain the language of the Contract. The term "general commercial waste" is not defined by the Contract. It is a descriptive term and seemingly is a sub-species

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> of "trade refuse" a term which is defined to include liquid waste. This suggests that the term "general commercial waste" was not intended to include liquid waste.

The following matters support the trial judge's view that "general commercial waste" includes "liquid waste". Cl 21 deals with "refuse", and contemplates "refuse" as falling into two categories – "commercial and industrial waste" and "domestic garbage and other refuse". Cl 2(b) defines "trade refuse" as including liquid refuse, and hence liquid waste, from any industrial, chemical, trade or business process or operation. Cl 2(d) defines "other wastes" as including liquids. If "trade refuse" includes liquid waste, it would seem that the word "refuse" in cl 21 also includes liquid waste. And if the expression "other wastes" includes liquid waste, it would seem that "general commercial waste" includes liquid waste. Cl 6 obliged the defendant to accept "rubbish, refuse … and trade refuse": it was common ground that that expression included liquid waste. It would be strange if cl 21 would contemplate the Council levying fees and charges for some categories of "refuse" delivered pursuant to cl 6, but not others (ie liquid waste). Further, the defendant was obliged by cl 21 to collect fees and charges levied for "refuse", but not refuse which was "garbage, trade refuse or other wastes deposited at the depot for or on behalf of the Council". Since "trade refuse" and "other wastes" are expressions which include "liquid waste", and since those types of refuse when delivered for or on behalf of the Council are excluded from the general category of "refuse", the drafting seems to [166] contemplate that "refuse" delivered otherwise than for or on behalf of the Council includes "trade refuse" and "other wastes", and hence liquid waste. Finally, the words "general commercial waste" in their ordinary meaning can include liquid waste, and nothing in the context in which they are used points against the application of that meaning. The next argument which the defendant put was that the charge for "general commercial waste" was a rate per cubic metre, "and the adoption of that unit of measurement highlights that the parties did not intend liquid waste to be included within the concept of 'general commercial waste'. When rates were set in relation to liquid waste by the parties, units of liquid measurement were used (see, eg 2/334; 3/528 and 3/604)." One cubic metre is a measure of volume. So is one gallon or one litre. Only elementary calculations are needed to convert one into another. Of the three evidentiary references given, the second does not state any unit of measurement. The first, which is a reference to the letter of 20 February 1990, uses gallons or litres as an alternative, which scarcely points decisively against cubic metres being regarded as a measurement for liquids; in any event the admissibility of that letter on the issue of construing the 12 July 1990 contract, even if it can be regarded as part of the "surrounding circumstances", appears to be forbidden by the principles stated in *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 at 347–52. The letter does not evidence the genesis or objective aim of the 12 July 1990 contract. Nor does it point clearly towards any identification of "the meaning of a descriptive term", as discussed at 349 and 351. On the defendant's case, the 20 February 1990 letter has nothing to do with the 12 July 1990 contract. Further, surrounding circumstances are not to be examined unless the contractual words to be construed are ambiguous. Counsel for the defendant denied any material ambiguity in the 12 July 1990 contract: he said orally that it was "very clearly drafted" and "clear in its terms to the extent that it is primarily concerned at least in relation to the charging and retention of fees [for] dry waste". Counsel for the defendant also said in writing: "There was no ambiguity resting either in the construction or interpretation of the contract or the words used."

The third evidence reference given by the defendant is to the letter of 19 September 1991 from the Council to Mr Landers, which spoke of rates per litre. A better reference would have been to the corresponding part of the letter sent on the same day to the defendant. The problem is that post-contractual events are not admissible on questions of construction.

The defendant then argued (para 31):

> It is also significant that a particular rate is specified in relation to "general commercial waste", namely, $3.00/m3 which does not appear to bear any relationship to the amount charged by Brambles from time to time in relation to liquid waste.

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So far as the higher charges postdate 12 July 1990, they are inadmissible on the question of construing the 12 July 1990 contract. So far as they predate it, they are inadmissible because they do not appear to be part of the background circumstances of which account can be taken on the question of construing the contract, which is in any event not ambiguous. The terms of the 12 July 1990 contract were subject to negotiation from 8 June 1989 until 12 July 1990.

The defendant then submitted (para 31):

> His Honour's construction of the Contract is also inconsistent with what the parties subjectively believed the Contract covered: *Air Great Lakes Pty Ltd v KS Easter (Holdings) Pty Ltd* (1985) 2 NSWLR 309, 330. [167] A memorandum of 20 December 1989 (2/317) demonstrates that Council was of the view that the Contract did not cover fees for liquid waste. The letter of 3 October 1991 (3/614) suggests that Brambles was of the view that the Contract did not concern liquid waste disposal at all.

First, the passage referred to in the case cited is not authority for using the parties' subjective beliefs about the construction of the contract as a guide to its construction. The passage rather deals with the different topic of the parties' intention to effect legal relations, and the very limited role which a subjective intention not to contract has. Secondly, the memorandum of 20 December 1989 at most shows what the Council thought the predecessor to the 12 July 1990 contract, namely the 1982 deed, covered; it says nothing at all about what the 12 July 1990 contract would cover. Thirdly, the letter of 3 October 1991 is post-contractual conduct, and not admissible on question of construction ….

Failure to attend to the factual matrix?

[3.145] … In any event, whatever might flow from the factual matrix, it cannot be resorted to unless the 12 July 1990 contract is ambiguous: it is not.

[168] For the above reasons the trial judge's conclusions about the 12 July 1990 contract are correct. It should be noted that there is some evidence that in 1990 and 1991 both the Council and the defendant did not share his conclusions, but in the absence of any argument for a decree of rectification or for an estoppel by convention the actual opinions of the parties are irrelevant …

Acceptance of the 19 September 1991 offer by conduct

[3.150] [170] … [The submissions of the appellant] boil down to three propositions. First, the 19 September 1991 letter was not an offer. Secondly, if it was, it was rejected on 3 October 1991 and was not thereafter available for acceptance by conduct; and, even if it was available for acceptance, the conduct did not result in a completed agreement. Thirdly, even if there was a completed agreement, there was no consideration.

(a) Was the 19 September 1991 letter an offer?

… [171] There is much to be said for the view that the 19 September 1991 letter was not an offer, or cannot have been intended to affect legal relations by contract. That is because to some extent the letter does not take the form of proposing a particular course for examination by the defendant with a view to the defendant choosing between acceptance or rejection in the light of that examination. Rather it sets out a resolution permitting fees to rise, and then peremptorily requests the defendant to charge those fees. To that extent the letter uses the language of command.

Not only does the present point not appear to have been argued below, it was not pleaded: para 4 of the Amended Defence is a bare denial of the relevant paragraphs of the Council's Summary of Contentions. The point is one which, even though the former Commercial Division may not have been a court of strict pleading, might have taken the Council by surprise, and hence ought to have been pleaded either under Pt 15 r 13(2)(b) of the Supreme Court Rules or by reason of conventional practice in that Division. It is a point on which evidence might have been called. In the circumstances it should not be entertained in this Court.

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(b) Was the 19 September 1991 offer rejected by the 3 October 1991 letter so as to render it incapable of acceptance and, if it was, does that prevent it from forming the basis of a contract as a result of the sending of the 19 September 1991 offer and the defendant's conduct in charging higher fees?

… The 19 September 1991 letter concluded with a proposal that the new liquid waste fees (presumably the increased part, ie net of what the defendant [174] was able to retain) be paid in accordance with the cl 22 regime which had hitherto only applied to waste deposited by the defendant.

What on an objective construction was the reaction of the 3 October 1991 letter to the 19 September 1991 offer?

[3.155] The 3 October 1991 letter did not purport to terminate all negotiations with the Council and it invited further communications. But, in two respects, it rejected the assumptions or proposals contained in the 19 September 1991 letter.

First, the 3 October 1991 letter, the author of which was probably operating on the subjective assumption that the defendant could retain only the rate stipulated in the 25 June 1991 letter, which was the rate which the defendant was receiving at that time, made the point that the defendant could not continue to provide the service at that rate, because that rate did not make the service "viable". When the 3 October 1991 letter said that the defendant was seeking "Adequate tip fees for the work involved in providing for liquid disposal", it was rejecting what it was probably taking the Council to be offering – 0.3 cents per litre. But, even when the letter is read through the eyes of a reasonable bystander, who must be taken to have knowledge of the fact that, as the trial judge found, on the true construction of the 9 January–20 February 1990 and 25 June 1991 letters, the Council was willing to let the defendant charge 1.1 cents per litre, the 3 October 1991 letter is a rejection of the Council's offer to let it retain only 1.1 cents per litre.

Secondly, the 3 October 1991 letter also made it plain that it did not accept that there was any contractual regime in place so far as liquid waste was concerned … [175] According to the defendant, the effect of the rejection of the 19 September 1991 offer was that it ceased to have operative effect unless it was later revived in some way, and it was not. Hence it was not capable of being accepted by conduct ….

[176] The defendant's contention that the rejection of the Council's offer meant that it was no longer capable of acceptance by conduct, and its related contention that its conduct did not constitute acceptance, depend heavily on the view that offer and acceptance analysis must invariably be employed in reaching decisions about the formation of contracts. While the process by which many contracts are arrived at is reducible to an analysis turning on the making of an offer, the rejection of the offer by a counter-offer and so on until the last counter-offer is accepted, that analysis is neither sufficient to explain all cases nor necessary to explain all cases. Offer and acceptance analysis does not work well in various circumstances. One example is a contract for the transportation of passengers on mass public transport (*MacRobertson Miller Airline Services v Commissioner of State Taxation (Western Australia)* (1975) 133 CLR 125 at 136–40). Another is the contract between competitors in a regatta: though they did not communicate with each other but only with the organiser of the regatta, they are bound by their conduct in "entering for the race, and undertaking to be bound by [the] rules to the knowledge of each other" (*Clarke v Earl of Dunraven (The "Satanita")* [1897] AC 59 at 63). That case was applied in *Raguz v Sullivan* [2000] NSWCA 240 at [65]–[67]. Another example concerns the exchanges of contracts to sell land, which are hard to analyse in offer and acceptance terms; despite that Lord Greene MR observed of the practice: "Parties become bound by contract when, and in the manner in which, they intend and contemplate becoming bound. It is a question of the facts of each case …" (*Eccles v Bryant* [1948] 1 Ch 93 at 104).

Another example concerns simultaneous manifestations of consent (Horst K Lücke "Striking A Bargain" (1962) 1 Adel LR 293 at 295–9). Another example concerns contracts between numerous parties, or even two parties, negotiated at meetings but not assented to until each party executes counterparts. Another is where the contract is made through a single broker acting for both parties. Another is where the parties are deadlocked and they agree to submit to a solution reached by a third party.

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In *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd* [1975] AC 154 at 167, Lord Wilberforce, in delivering the majority advice of the Privy Council about a bargain evidenced by a bill of lading between a shipper and a stevedore made through a carrier as agent, said:

> It is only the precise analysis of this complex of relations into the classical offer and acceptance, with identifiable consideration, that seems to present difficulty, but this same difficulty exists in many situations of daily life, eg sales at auction; supermarket purchases; boarding an omnibus; purchasing a train ticket; tenders for the supply of goods; offers of rewards; acceptance by post; warranties of authority by agents; manufacturers' guarantees; gratuitous bailments; bankers' commercial credits. These are all examples which show that English law, having committed itself to a rather technical and schematic doctrine of contract, in application takes a practical approach, often at the cost of forcing the facts [177] to fit uneasily into the marked slots of offer, acceptance and consideration.

Anson's *Law of Contract* (27th ed, 1998) concludes:

> It would be a mistake to think that all contracts can thus be analysed into the form of offer and acceptance or that, in determining whether an exchange does give rise to a contract, the sole issue is whether the communications match and are identical. The analysis is, however, a working method which, more often than not, enables us, in a doubtful case, to ascertain whether a contract has in truth been concluded, and as such may usefully be retained.

Thus offer and acceptance analysis is a useful tool in most circumstances, and indeed is "normal" and "conventional" (*Gibson v Manchester City Council* [1979] 1 All ER 972 at 974 per Lord Diplock). But limited recognition has been given to the possibility of finding that contracts exist even though it is not easy to locate an offer or acceptance. In *Integrated Computer Services Pty Ltd v Digital Equipment Corp (Aust) Pty Ltd* (1988) 5 BPR 11,110 at 11,117–18 McHugh JA (Hope and Mahoney JJA concurring) said:

> It is often difficult to fit a commercial arrangement into the common lawyers' analysis of a contractual arrangement. Commercial discussions are often too unrefined to fit easily into the slots of "offer", "acceptance", "consideration" and "intention to create a legal relationship" which are the benchmarks of the contract of classical theory. In classical theory, the typical contract is a bilateral one and consists of an exchange of promises by means of an offer and its acceptance together with an intention to create a binding legal relationship …
>
> Moreover, in an ongoing relationship, it is not always easy to point to the precise moment when the legal criteria of a contract have been fulfilled. Agreements concerning terms and conditions which might be too uncertain or too illusory to enforce at a particular time in the relationship may by reason of the parties' subsequent conduct become sufficiently specific to give rise to legal rights and duties. In a dynamic commercial relationship new terms will be added or will supersede older terms. It is necessary therefore to look at the whole relationship and not only at what was said and done when the relationship was first formed.

Those passages were cited with approval by Ormiston J in *Vroon BV v Foster's Brewing Group* [1994] 2 VR 32 at 82–3. He also approved the following statement of Cooke J in *Meates v Attorney-General* [1983] NZLR 308 at 377:

> I would not treat difficulties in analysing the dealings into a strict classification of offer and acceptance as necessarily decisive in this field, although any difficulty on that head is a factor telling against a contract. The acid test in the case like the present is whether, viewed as a whole and objectively from the point of view of reasonable persons on both sides, the dealings show a concluded bargain.

Ormiston J said at 81:

> … I am prepared to accept … that agreement and thus a contract can be extracted from circumstances where no acceptance of an offer can be established or inferred and where

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> the most that can be said is that a manifestation of mutual assent must be implied from the circumstances. [178] In the language of para 22(2) of the *Second Restatement on Contracts*: "A manifestation of mutual assent may be made even though neither offer or acceptance could be identified and even though the moment of formation cannot be determined".

He concluded at 83: "there is now sufficient authority to justify the court inquiring as to the existence of an agreement evidenced otherwise than by offer and acceptance." In *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 523 at 555 McHugh JA (with whom Samuels JA concurred) said:

> where an offeree with a reasonable opportunity to reject the offer of goods or services takes the benefit of them under circumstances which indicate that they were to be paid for in accordance with the offer, it is open to the tribunal of fact to hold that the offer was accepted according to its terms.

One further observation of McHugh JA in *Integrated Computer Services Pty Ltd v Digital Equipment Corp (Aust) Pty Ltd* (at 11,117) is relevant:

> it is an error "to suppose that merely because something has been done then there is therefore some contract in existence which has thereby been executed". Nevertheless, a contract may be inferred from the acts and conduct of parties as well as or in the absence of their words. The question in this class of case is whether the conduct of the parties, viewed in the light of the surrounding circumstances, shows a tacit understanding or agreement. The conduct of the parties, however, must be capable of proving all the essential elements of an express contract.

See also, to the same effect, *Pagnan SpA v Feed Products Ltd* [1987] 2 Lloyd's Rep 601 at 611 (affirmed on appeal at 615).

A similar principle was enunciated in *Brogden v Metropolitan Railway Co* (1877) 2 App Cas 666 at 682, where Lord Hatherley adopted the language of a concession by Mr Herschell QC as sound:

> he says that he will not contend that this agreement is not to be held to be a binding and firm agreement between the parties, if it should be found that, although there has been no formal recognition of the agreement in terms by the one side, yet the course of dealing and conduct of the party to whom the agreement was propounded has been such as legitimately to lead to the inference that those with whom they were dealing were made aware by that course of dealing, that the contract which they had propounded had been in fact accepted by the persons who so dealt with them.

Thus if a vendor of property, having been informed of its real estate agent's scale of fees, permits the real estate agent to continue endeavouring to sell the property, the vendor will be taken to have agreed to that sale by conduct (*Way & Waller Ltd v Ryde* [1944] 1 All ER 9 at 10).

While in *Toyota Motor Corporation Australia Ltd v Ken Morgan Motors Pty Ltd* [1994] 2 VR 106 at 178 Tadgell J exhibited some caution about the finding of a contract merely on the basis of a manifestation of mutual assent, he did quote *Williston on Contracts*, Vol I, para 4:3, p 258, to the following effect:

> It is not necessary to insist that assent must always be manifested by means of offer and acceptance, but cases where offer and acceptance are lacking are so rare that for purposes of general discussion they may be [179] disregarded. When they arise, they can be easily reduced to fundamental principles, particularly in the light of the modern view, adopted by both the Uniform Commercial Code and Restatement (Second), that so long as a manifestation of mutual assent is present, a contract can be found to exist though no offer or acceptance can be identified and though the precise moment that the contract thereby comes into being cannot be determined.

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He continued:

> If a contract is to be discerned in the absence of offer and acceptance I venture the suggestion that … it is to be discovered by inferring from the relevant facts the conclusion that the parties have agreed to incur reciprocal promissory obligations … As Williston suggests, the necessity or opportunity so to infer in the absence of offer and acceptance is likely to be rare ….

If offer and acceptance analysis is not always necessary or sufficient, principles such as the general principle that a rejection of an offer brings it to an end cannot be universal. A rejected offer could remain operative if it were repeated, or otherwise revived, or if in the circumstances it should for some other reason be treated, despite its rejection, as remaining on foot, available for acceptance, or for adoption as the basis of mutual assent manifested by conduct.

In the light of the above cases, it is relevant to ask: in all the circumstances can an agreement be inferred? Has mutual assent been manifested? What would a reasonable person in the position of the Council and a reasonable person in the position of the defendant think as to whether there was a concluded bargain?

Applying the test stated by McHugh JA in *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd*, the 19 September 1991 letter offered "services" in the sense of a commercial benefit. The commercial benefit was a contractual right, which had not existed before, to charge up to 6 cents per litre and retain 1.1 of that 6 cents. (While the defendant and the Council may at the time have regarded the figure to be retained as only 0.3 cents, as Hodgson J construed the letter of 25 June 1991, they were in error, and it is the reaction of reasonable parties, not the actual parties, which must be analysed.) The parties had treated the 9 January and 20 February 1990 letters as having conferred that benefit in a practical sense, but the conferral of the benefit lacked contractual backing. The defendant, as offeree, had a reasonable opportunity to reject the offer: indeed, initially it did reject the offer. However, it soon took advantage of the benefit offered. It knew that the only basis on which the Council was prepared to permit the higher prices to be charged and the 1.1 cents retained as a matter of contractual right was the basis stated in the 19 September 1991 letter. The charging of the higher prices by the defendant could convey one of two possibilities, that it was acting in breach of the condition on which the benefit was being conferred, or that the defendant was accepting that condition. A reasonable bystander, and in particular a reasonable bystander in the position of the Council, would prefer the latter possibility. Once the Council came to learn that the defendant was charging the higher fees from October it would reasonably have thought that a contract existed between the parties on the terms of the 19 September 1991 letter. Breach of the condition on which the benefit was being conferred did not take place when the higher fees were charged; it only took place when that part of the higher fees [180] which had to be passed over to the Council was not passed over pursuant to the 18 September 1991 letter and cl 22 of the 12 July 1990 agreement, namely within "one calendar month of the end of each quarter". The first breach of that condition took place on 31 January 1992, well after the fees increased. The first breach of the duty to keep records and issue dockets to Council also took place after the increased fees began to be charged.

There is some evidence that Mr Pitkin of the Council and Mr Grundy of the defendant believed that there was no contractual regime for liquid waste fees but that the Council had some other power to fix them. That does not matter. Reasonable persons in the position of the Council and the defendant would construe the 19 September 1991 letter and the defendant's later conduct as henceforth putting the regime for liquid waste fees on a contractual basis, whatever the position had been before ….

[181] One way of putting the applicable test is the way that Scrutton LJ put it in *Sullivan v Constable* (1932) 48 TLR 369 at 370: "If the [defendant] had so acted that the plaintiff was reasonably entitled to believe that [the defendant] was assenting to the position which had been asserted by the plaintiff, the [defendant] was bound."

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A similar test was stated by *Chitty on Contracts* (28th ed, 1999) Vol 1, para 2-027: "conduct will only amount to acceptance if it is clear that the offeree did the act with the intention (actual or *apparent*) of accepting the offer" (emphasis added). A reasonable person in the Council's shoes would, in the light of the defendant's decision to charge the higher fees of which the Council speedily learned, have been reasonably entitled to believe that the defendant was assenting to the position asserted in the 19 September 1991 letter despite its initial rejection. That was the apparent intention underlying its conduct. The fact that the defendant did not communicate its move to the new fee levels directly to the Council does not matter. Speaking of the general rule that an acceptance must be communicated to the offeror, *Chitty on Contracts* (28th ed, 1999), Vol 1, para 2-041 states:

> The main reason for the rule is that it could cause hardship to the offeror to be bound without knowing that his offer had been accepted. It follows that, so long as the offeror knows of the acceptance, there can be a contract even though the acceptance was not brought to his notice by the offeree.

Had the defendant wished to reserve to itself the right to retain the whole of the higher fees despite the position which Council had communicated in the letter of 19 September 1991, it was incumbent on it to inform the Council that it considered it had a right to charge the higher fees and retain the whole of them and proposed to act on that view. It did not communicate that view in its letter of 3 October 1991. And it did not communicate that view at any other time. Its failure to do so meant that the Council was reasonably entitled to believe that the defendant was acting in conformity with the letter of 19 September 1991 and entering a contract on its terms.

If, a few months after 19 September 1991, the Council had demanded that all fees received above those stipulated for in cl 21 and cl 22 be paid to it, and the defendant alleged that it was contractually entitled to retain the fees up to 1.1 cents, what would have prevented that contention from succeeding? On the trial judge's findings, that contention could not have been met by appeal to the 9 January–20 February 1990 letters. But why could it not have been met by reference to the 19 September 1991 letter and the defendant's actions in conformity with it? The defendant's submissions to this Court offered no satisfactory answer to that question.

It was submitted that the defendant's conduct amounted to taking advantage of the beneficial parts of the 19 September 1991 proposal but not submitting to its disadvantageous aspects, and hence that the conduct did not establish consent to them. In all the circumstances it was for the defendant to make plain that its conduct amounted only to taking advantage of the proposal but not to submitting to the disadvantages if that was its position. It did not express that position until some years had passed. [182]

(c) Even if the 19 September 1991 letter was accepted by conduct or otherwise stated contractual terms, was there consideration?

The trial judge found consideration in the fact that while the letters of 9 January–20 February 1990 authorised the defendant to retain 1.1 cents per litre, he did not find that this created any contractual entitlement. The effect of accepting the 19 September 1991 offer was to give a contractual entitlement. That is a benefit capable of amounting to consideration and moving from the Council as promisee. It is crucial to this reasoning that the 9 January–20 February 1990 letters did not create a contract. The trial judge's failure to find that the 9 January and 20 February 1990 letters created a contract, and his implicit finding that they did not (in his use of the words "The pre-existing authorisation of 1.1c was put on a firmer footing"), is supported by the fact that when the Council purported to amend the rate by its letter of 25 June 1991, the defendant did not protest, as it could have if its rights were contractual. This subsequent conduct of the parties is admissible on the issue of whether there was a contract at all, and points strongly against it. The fact that there was no response to the 20 February 1990 letter, in which the Council put a proposal to the defendant different from that which the defendant had put to the Council on 9 January 1990, also indicates that there was no contract formed by the letters.

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A further benefit to the defendant was, as the trial judge said, that the problem of excessive depositing of liquid waste was burdensome to the defendant, and the higher charges, in operating as a deterrent to the excessive depositing of liquid waste, benefited the defendant intending to reduce those burdens. There was also a benefit to the Council as promisor, namely the creation of a fund which by creating a reserve to establish a liquid waste treatment plant, would enable liquid waste to be disposed of more efficiently and in a more environmentally friendly manner. That in turn would have advantages for the defendant in increasing the capacity of the site to carry waste ….

IPP JA:

The dispute about fees for collecting and depositing liquid waste

[3.160] [184] For the reasons set out by Heydon JA, I agree that the July 1990 contract governed the charging of liquid waste and regulated the fees that the appellant was entitled to charge and the parties' obligations to each other in respect of [185] the liquid waste fees collected. It is, accordingly, unnecessary for me to say anything more in this respect. I also agree with Heydon JA for the reasons set out by him that the letter of 19 September 1991 has to be treated as a contractual offer, this being how the case was conducted at trial. It is now too late for the appellant to argue that, in writing that letter, the Council had no contractual intent. This was not an issue raised or investigated at the trial. I, too, have come to the conclusion that the offer contained in the letter of 19 September 1991 was accepted and the October 1991 contract was concluded. I have, however, done so by a route different to that followed by Heydon JA and the learned trial judge. In order to explain how I have arrived at this conclusion it is necessary for me to set out the background facts.

[His Honour set out the background facts and continued:]

The construction of the 19 September 1991 letter: the ambiguities

[3.165] [191] While the finding that the July 1990 contract governed the charging of fees for liquid waste inevitably results in the further finding that the appellant committed a breach of that contract by charging more for liquid waste than that contract allowed, it does not follow that the Council, in consequence, suffered any loss. For the Council, without more, to succeed in its claim for damages, it would have to establish a right to restitutionary damages, a proposition open to serious doubt. Whether the offer contained in the 19 September 1991 letter was accepted (and the October 1991 contract was thereby concluded), is therefore an issue of significant importance.

In considering whether the 19 September 1991 offer was accepted, it is necessary to determine, precisely, the terms of that offer: *Quadling v Robinson & Anor* (1976) 137 CLR 192 at 201.

It is nowadays a trite proposition that, if the language of a contract is ambiguous, evidence of surrounding circumstances is admissible for the purposes of construing the contract:

> *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 at 352. Where ambiguities exist, mutually known facts establishing the commercial purpose of the contract, the genesis of the transaction, the background and the context in which the parties are operating will be admissible: *Reardon Smith Line Ltd v Hansen-Tangen* (1976) 1 WLR 989 (at 995 to 996 per Lord Wilberforce). On this basis, the shared beliefs of the parties as to their respective rights as they existed immediately before the contract was entered into are admissible, such beliefs constituting common assumptions: *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* at 353–4.

[192] In *B & B Constructions (Aust) Pty Ltd v Brian A Cheeseman & Associates Pty Ltd* (1994) 35 NSWLR 227, 245 Mahoney J drew attention to the recent tendency to apply the parol evidence rule in a less restrictive way (see, for example, the statement of McHugh JA in *Manufacturers Mutual Insurance Ltd v Withers* (1988) 5 ANZ Insurance Cases para 60-853 at 75,343). Mahoney J went on to say:

> The Court is not confined to the examination of the text of the document. It is entitled to know, by extrinsic evidence or otherwise, what was the context in which the document was executed and the problem or problems which were to be solved by it.

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As I understand his Honour's observations, he was referring to an unambiguous contract. With respect to his Honour, if the aim of construction is, by objective means, to arrive at the real intention of the parties, there is much to be said for this approach. Any exercise in objective construction that does not have regard to the context in which the contract was entered into must carry serious risks that the results will be distorted. It is, however, unnecessary to rely on any extension of the established rule as, in my opinion, the letter of 19 September 1991 is ambiguous and does allow regard to be had to the context and the parties' common assumptions.

The first ambiguity stems from the phrase "the additional income" in resolution (a). This phrase cannot be understood without reference to the letters of 9 January 1990, 20 February 1990 and 25 June 1991 as it does not have a fixed meaning. Those letters, in turn, cannot properly be understood without reference to the parties' common beliefs as to their contractual effect. The issue is similar to that in *Bank of New Zealand v Simpson* [1900] AC 182 where the Privy Council considered that extrinsic evidence was admissible to determine the meaning of the phrase "the total cost of the works".

Secondly, it is not clear whether in the last paragraph of the letter of 19 September 1991 the Council was invoking cl 22 on the basis that the July 1990 contract, since its inception, governed the payment of fees for liquid waste, or whether the Council was seeking merely to incorporate that clause by reference in its offer (so that, upon acceptance, its provisions would, for the first time, apply to liquid waste). This ambiguity is exacerbated by the reference, in the letter of 19 September 1991, to the appellant being required to keep records and issue dockets "in a similar manner to the Disposal Fees being paid to Council for Solid Waste disposal". The July 1990 contract did not oblige the appellant to keep records and issue dockets save that cl 21 required it to issue receipts on behalf of the Council for fees and charges collected and to deliver to the Council all used receipt books "not later than one calendar month after the end of the quarter in which the book was completed". The reference to a "similar manner" is therefore erroneous, but the sentence in which this phrase appears suggests that the Council was proposing a term similar to one contained in the July 1990 contract and was seeking to incorporate that term by reference.

Accordingly, in my view, the offer being ambiguous in the respects indicated, the context and common assumptions are admissible, according to accepted principle, in the exercise of construction. I shall now detail the material that I consider to be relevant to construe the offer.

The construction of the 19 September 1991 letter: the extrinsic material

[3.170] [193] … [At] the time the letter of 11 September 1991 was sent, the appellant and the Council, in common, assumed the following:

(a) The July 1990 contract governed the receipt of liquid waste but not the fees to be charged by the appellant for liquid waste.

(b) The charging of fees for liquid waste was governed by the January and February 1990 letters as corrected or varied by the letter of 25 June 1991.

(c) The appellant was not entitled to charge fees for collecting liquid waste otherwise than in accordance with the Council's agreement as to the fees charged.

By September 1991 the volume of liquid waste deposited had increased significantly and serious problems with its disposal had emerged. There was a mutual need to deal with those problems. The appellant was incurring additional handling costs by reason of the difficulties in disposal. The vast quantities of liquid waste were impinging on the capacity of the depot to receive solid waste. The difficulties in disposal were causing bad odours and other problems. There was a need for a different method of treating the disposal of liquid waste at the depot. [194]

The meaning of the letter of 19 September 1991

[3.175] When the offer of 19 September 1991 is construed by reference to the context and the parties' common beliefs, it is apparent that it was written on the assumption that, upon acceptance, it would give rise to a contract that dealt separately and independently with the determination of fees for liquid waste and the payment of part of them by the appellant to the Council. The parties did

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not believe that the July 1990 contract applied to liquid waste and they did not intend to invoke any clause of that contract on the basis that it governed the determination of fees for liquid waste.

Accordingly, the last sentence of the letter of 19 September 1991 must be construed as seeking to incorporate cl 22 of the July 1990 contract by reference in the way I have explained. That being so, the Council was not thereby asserting that the July 1990 contract was, generally, of application to the charging of fees for liquid waste. Moreover, the "additional income" referred to in the letter of 19 September 1991, objectively construed by reference to the relevant background facts, means income additional to 1.1 cents per litre, that being the fee the appellant was entitled to retain pursuant to the 20 February 1990 letter, read with the letter of 25 June 1991.

Was the offer of 19 September 1991 rejected by the letter of 3 October 1991?

[3.180] The question whether the letter of 3 October 1991 amounted to a rejection of the offer of 11 September 1991 involves a matter of construction: *Quadling v Robinson* at 201. The effect of the appellant's letter of 3 October 1991 has to be considered in the light of the construction of the letter of 19 September 1991. On that basis, the appellant's statement in the letter of 3 October 1991 that it "has no contract with Council for liquid disposal" was not a rejection of the offer contained in the earlier letter. The Council had not asserted that such a contract existed.

Similarly, when the letter of 3 October 1991 is read in context and as a whole, the statement that "the present rates do not make it viable to continue providing a liquid disposal service" was not a rejection of the offer. This statement was in the same tenor as the request by the appellant for "adequate tip fees for the work involved in providing for liquid disposal". These remarks were merely part of the posturing that often accompanies negotiation.

The attitude displayed in the letter of 3 October 1991 is similar to that of the plaintiffs in *Stevenson, Jacques & Company v McLean* (1880) 5 QBD 346. In that case the defendant contemplated selling a quantity of iron to the plaintiffs. He wrote to the plaintiffs to the effect that he would sell for forty shillings nett cash per ton, the offer to remain open until Monday. On the Monday, the plaintiffs' telegraphed the defendant, "Please wire whether you would accept forty for delivery over two months or, if not, longest limit you would give." The plaintiffs sent a further telegraph message to the defendant informing him that, acting as his agents, they had secured a sale at the price he was asking. The question arose whether, by their first telegram, the plaintiffs had rejected the defendant's offer, thereby rendering it incapable of acceptance at a later date. Lush J held (at 350) that the plaintiffs' telegram was in the form of an inquiry, there was "nothing specific by way of offer or rejection". I regard the letter of 3 October 1991 in the same light.

[195] In my view, the letter of 3 October 1991 expressed dissatisfaction with the offer of 11 September 1991 and set out the appellant's argument for higher fees, but did not amount to a rejection. The appellant was attempting thereby to create a platform for further negotiation while leaving the offer of 11 September 1991 open for acceptance.

Did the appellant accept the offer of 19 September 1991: the appellant's argument

[3.185] The Council pleaded that a contract was constituted by the letters of 19 September 1991, 3 October 1991 and 15 October 1991 together with "the consent of the [appellant] in accepting liquid waste and levying fees therefor". Of these, it is only the pleaded conduct of the appellant in charging the fees stipulated in the letter of 19 September 1991 that is capable of constituting an acceptance of the offer contained in that letter.

The conditions proposed by the letter of 11 September 1991 (properly construed) were as follows:

(a) Liquid waste disposal costs were to be increased to 1.3 cents per litre from 1 October 1991 and then quarterly by 1 cent per litre up to a figure of 6 cents per litre.

(b) The appellant was to charge those fees to Cleanaway, Mr Landers and all other depositors of liquid wastes at the depot.

(c) The respondent was to keep records and issue dockets to the Council each week.

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(d) The appellant was to retain 1.1 cents per litre of the fees collected by it and pay the additional income to the Council "each quarter in accordance with cl 22 of the contract".

As mentioned, the appellant charged fees as contemplated by the letter of 11 September 1991 to itself, Mr Landers and all other depositors. It retained all the monies it so collected itself and did not comply with the other conditions. Accordingly, the appellant submitted, its conduct did not amount to an absolute and unqualified acceptance of the offer.

Did the appellant accept the offer of 19 September 1991: the relevant surrounding circumstances

[3.190] In *Brogden v Metropolitan Railway Co* (1877) 2 App Cas 666 Lord Hatherley said (at 686) that, for conduct to amount to implied acceptance of an offer, it must be "of such a character as necessarily to lead to the inference on the part of the defendants that the agreement had been accepted on the part of the plaintiffs and was to be acted upon by them". The question is one of fact (*Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 523 at 535 per McHugh JA) and its determination depends on an examination of the facts said to give rise to an acceptance, seen in their context.

A significant feature of the relevant context is the purpose of the offer, as mutually understood. One important purpose is manifest from the letter of 19 September 1991 itself, namely, the creation of a monetary reserve for the establishment of a liquid waste treatment plant.

I have referred to the problems that were being experienced because of the vast increase of liquid waste being deposited at the depot. This had caused difficult physical conditions on site, making handling expensive and hindering the disposal of solid waste. These difficulties tended, practically, to limit the [196] quantity of liquid waste that could be deposited and limit the income that the appellant could earn from both liquid and solid waste. The Council, too, was being prejudiced as the services it wished to make available to the community at the depot were deteriorating.

The establishment of a liquid waste treatment plant would ameliorate these difficulties. It is true that the July 1990 contract was due to expire in 1996 and there was no evidence as to when such a plant would be constructed, but the relationship between the appellant and the Council in regard to the management of the depot had endured since 1982 and there was no evidence to suggest that it was likely to terminate on the expiry of the current contract. The construction of a treatment plant was likely to be to the mutual advantage of both …. Additionally, the increase in prices would act as a disincentive to the public to use the depot for the depositing of liquid waste.

Hence, the purpose of the offer of 19 September 1991 was to arrive at an agreement whereby funds for a liquid waste treatment plant could be obtained over a period when the quantities of liquid waste deposited at the depot would be reduced. This purpose was known to the appellant.

A further factor to be born in mind is that the offer involved the continued use by the appellant of the Council's land for the depositing of liquid waste. In other words, the Council was proposing to the appellant that it might continue to use the Council's land for that purpose and charge higher fees for the liquid waste deposited, on the basis suggested.

In reality, this proposal was a concession by the Council. True it is that cl 6 of the July 1990 contract required the appellant to keep the depot open for the receipt of trade refuse (which included liquid waste) from 8.30 am to 5.30 pm seven days a week, and it was implicit in this clause that the Council would allow its property to be used for the receipt of liquid waste during the periods stipulated. But the Council's obligations in this respect were impliedly conditioned by considerations of reasonableness. The appellant was not entitled to collect or accept liquid waste in excessive quantities that would damage the Council's land or otherwise prejudice the operation of the purpose of the depot (which was primarily to receive solid waste).

By September 1991, the site problems to which I have adverted were reaching the stage where the Council would have had to consider, on the grounds of reasonableness, limiting the depositing of liquid waste. Were the offer of 19 September to be accepted, the Council was unlikely to impose any such limit.

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Did the appellant accept the offer of 19 September 1991: conclusion

[3.195] Both parties believed that fees for liquid waste could not be increased without the Council's assent. By the offer, the Council was proposing an increase in fees, but only on condition that the moneys received from that increase were to be retained by the appellant and paid to the Council to be used as a reserve for the establishment [of] a liquid waste treatment plant. The establishment of such a plant was a matter of fundamental significance to the Council.

The letter of 19 September 1991 when read in context, reflects a scheme whereby the Council intended to finance the construction of a liquid waste treatment plant by the additional income to be derived from the increase in liquid waste disposal fees. This was the sole reason for the Council proposing [172] the increase in fees. The two matters were dependent on each other and inextricably linked. They were not capable of being separated.

In these circumstances, in my view, the fact that the appellant charged the higher fees is conclusive evidence that it agreed to all the conditions contained in the offer of 19 September 1991. When regard is had to the indivisible nature of the offer, the appellant's conduct, objectively viewed, was an unequivocal acceptance of the offer. The appellant accepted the benefits proposed, namely, the charging of the higher fees while using the Council's land. Those benefits could not be severed from the obligations proposed. Accordingly, by accepting those benefits the appellant accepted the Council's offer in accordance with its terms (cf *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* at 535).

Consideration

[3.200] By the October 1991 contract the appellant was not allowed to retain any moneys additional to the 1.1 cents per litre to which it was entitled under the arrangement that, as at that date, was already in place. The appellant submitted that this meant that it received no consideration and, therefore, the contract was not binding.

The October 1991 contract laid the basis for the establishment of a liquid waste treatment plant that would enable more liquid waste to be deposited at the depot and alleviate problems with the handling of solid waste. This would enable the appellant, in consequence, to earn more. Moreover, the practical effect of the October 1991 contract was to enable the appellant to continue using the Council's land for the depositing of liquid waste without the real prospect of the Council imposing any limit on such depositing.

The benefits which I have outlined were adequate consideration for the October 1991 contract.

Conclusion

[3.205] Having found that the offer was accepted and that there was consideration, it follows that I consider that Hodgson CJ in Eq correctly found that the parties entered into the October 1991 contract and that contract was binding and enforceable.

It is therefore unnecessary for me to deal with the issues that arise out of the Council's alternative claims.

Accordingly, I would dismiss the appeal. I agree with the orders proposed by Heydon JA.

Appeal dismissed.

Method of communication

Postal acceptance rule

[3.210] From the time of the decision in *Adams v Lindsell* (1818) 1 B & A 681; 106 ER 250, the "postal rule" (called the "mailbox rule" in the United States) has governed acceptances sent by post. In *Henthorn v Fraser* [1892] 2 Ch 27, 33, Lord Herschell stated the principle as follows:

> Where the circumstances are such that it must have been within the contemplation of the parties that, according to the ordinary usages of mankind, the post might be used as a means of communicating the acceptance of an offer, the acceptance is complete as soon as it is posted.

In *Tallerman & Co Pty Ltd v Nathan's Merchandise* (1957) 98 CLR 93, 111–112, Dixon CJ and Fullagar J appeared to take a more restrictive view of the circumstances in which the postal rule is to be applied:

> The general rule is that a contract is not completed until acceptance of an offer is actually communicated to the offeror, and a finding that a contract is completed by the posting of a letter of acceptance cannot be justified unless it is to be inferred that the offeror contemplated and intended that his offer might be accepted by the doing of that act: see *Henthorn v Fraser* [1892] 2 Ch 27, at 35, per Kay LJ. In that case as in *Household Fire & Carriage Accident Insurance Co (Ltd) v Grant* (1879) 4 Ex D 216, it was easy to draw such an inference, but in such a case as the present, where solicitors are conducting a highly contentious correspondence, one would have thought that actual communication would be regarded as essential to the conclusion of agreement on anything.

In *Bressan v Squires* [1974] 2 NSWLR 460, 461–2, Bowen CJ in Eq said:

> According to [the formulation of Lord Hershell in *Henthorn v Fraser*], all that needs to be in contemplation of the parties is the post as a mode, indeed as a possible or permitted mode, for the law to impose the consequence that the contract is concluded by the action of posting. It is not required that it should be within the contemplation of the parties that the action of posting should have the consequence of concluding the contract; this, of course, would apply in relatively fewer cases, and would narrow the application of the exception.
>
> At first reading, it might be thought that the formulation by Dixon CJ and Fullagar J in *Tallerman & Co Pty Ltd v Nathan's Merchandise (Victoria) Pty Ltd* … constituted an adoption of this narrower basis … The reference made by their Honours to the judgment of Kay LJ in *Henthorn v Fraser*, however, suggests to my mind they were not intending to narrow the exception.

Brinkibon v Stahag Stahl Und Stahlwarenhandelsgesellschaft

[3.215] *Brinkibon Ltd v Stahag Stahl Und Stahlwarenhandelsgesellschaft mbH* [1983] 2 AC 34 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: After prolonged negotiations for the sale of a quantity of steel bars, the *buyers*, an English company, sent a telex to Vienna accepting the terms of sale offered by the *sellers*, an Austrian company. The contract was not performed and the buyers wished to sue the sellers, but the sellers objected on the grounds that the English courts had no jurisdiction over an Austrian company. Order II, r 1(1)(f) of the *Rules of the Supreme Court 1965 (England and Wales)* allowed a party to serve a writ on someone outside the jurisdiction, "if the contract was made within the jurisdiction" and, accordingly, the House of Lords had to decide when and where the contract was made.]

LORD WILBERFORCE: [40] In the present case it seems that if there was a contract (a question which can only be decided at the trial), it was preceded by and possibly formed by a number of telephone conversations and telexes between London and Vienna, and there are a number of possible combinations [41] on which reliance can be placed. At this stage we must take the alternatives which provide reasonable evidence of a contract in order to see if the test is satisfied. There are two:

(1) A telex dated 3 May 1979 from the sellers in Vienna, said to amount to a counter-offer, followed by a telex from the buyers in London to the sellers in Vienna dated 4 May 1979, said to amount to an acceptance.
(2) …

Brinkibon v Stahag Stahl Und Stahlwarenhandelsgesellschaft cont.

> The first of these alternatives neatly raises the question whether an acceptance by telex sent from London but received in Vienna causes a contract to be made in London or in Vienna. If the acceptance had been sent by post, or by telegram, then, on existing authorities, it would have been complete when put into the hands of the Post Office, in London. If on the other hand it had been telephoned, it would have been complete when heard by the offeror, in Vienna. So in which category is a telex communication to be placed? Existing authority of the Court of Appeal decides in favour of the latter category, that is, a telex is to be assimilated to other methods of instantaneous communication: see *Entores Ltd v Miles Far East Corp* [1955] 2 All ER 493; [1955] 2 QB 327. The buyers ask that this case, which has stood for 30 years, should now be reviewed.

Now such review as is necessary must be made against the background of the law as to the making of contracts. The general rule, it is hardly necessary to state, is that a contract is formed *when* acceptance of an offer is communicated by the offeree to the offeror. And if it is necessary to determine *where* a contract is formed … it appears logical that this should be at the place where acceptance is communicated to the offeror. In the common case of contracts, whether oral or in writing inter praesentes, there is no difficulty; and again logic demands that even where there is no mutual presence at the same place and at the same time, if communication is instantaneous, for example by telephone or radio communication, the same result should follow.

Then there is the case (very common) of communication at a distance, to meet which the so called "postal rule" has developed … In these cases too it seems logical to say that the place, as well as the time, of acceptance should be *where* (as *when)* the acceptance is put into the charge of the post office.

In this situation, with a general rule covering instantaneous communication inter praesentes, or at a distance, with an exception applying to [42] non-instantaneous communication at a distance, how should communications by telex be categorised? In *Entores Ltd v Miles Far East Corp* the Court of Appeal classified them with instantaneous communications. Their ruling, which has passed into the textbooks, including *Williston on Contracts*, appears not to have caused either adverse comment, or any difficulty to businessmen. I would accept it as a general rule. Where the condition of simultaneity is met, and where it appears to be within the mutual intention of the parties that contractual exchanges should take place in this way, I think it a sound rule, but not necessarily a universal rule.

Since 1955 the use of telex communication has been greatly expanded, and there are many variants on it. The senders and recipients may not be the principals to the contemplated contract. They may be servants or agents with limited authority. The message may not reach, or be intended to reach, the designated recipient immediately: messages may be sent out of office hours, or at night, with the intention, or on the assumption, that they will be read at a later time. There may be some error or default at the recipient's end which prevents receipt at the time contemplated and believed in by the sender. The message may have been sent and/or received through machines operated by third persons. And many other variations may occur. No universal rule can cover all such cases; they must be resolved by reference to the intentions of the parties, by sound business practice and in some cases by a judgment where the risks should lie …

The present case is, as *Entores Ltd v Miles Far East Corp* itself, the simple case of instantaneous communication between principals, and, in accordance with the general rule, involves that the contract (if any) was made when and where the acceptance was received. This was on May 4 1979 in Vienna …

I find myself in agreement with the Court of Appeal, and the appeal must be dismissed.

[LORD FRASER OF TULLYBELTON and LORD BRANDON OF OAKBROOK delivered concurring judgments; LORD RUSSELL OF KILLOWEN and LORD BRIDGE OF HARWICK concurred in the judgments of LORD WILBERFORCE and LORD BRANDON.]

Appeal dismissed.

[3.220] **Note**

In *Reese Bros Plastics Ltd v Hamon-Sobelco Australia Pty Ltd* (1988) 5 BPR 11,106, the Court of Appeal of the Supreme Court of New South Wales accepted that the instantaneous communication principle should be applied to facsimile messages.

Electronic communications

[3.225] The time of receipt of electronic communications is now governed by legislation in all Australian States and Territories. The Electronic Transactions Acts were based on the United Nations Commission on International Trade Law (UNCITRAL) Model Law on Electronic Commerce (1996), which has since been supplemented by the United Nations *Convention on the Use of Electronic Communications in International Contracts 2005*.

The New South Wales legislation is set out below. Equivalent or identical provisions are to be found in: *Electronic Transactions Act 1999* (Cth), ss 5, 14A and 15A–15F; *Electronic Transactions Act 2000* (Tas), ss 3, 11A and 12A–12E; *Electronic Transactions (Northern Territory) Act* (NT), ss 5, 13A and 14A–14E; *Electronic Communications Act 2000* (SA), ss 5, 13A and 14A–14E; *Electronic Transactions (Victoria) Act 2000* (Vic), ss 3 and 13A–14E; *Electronic Transactions Act 2011* (WA), ss 5, 14(1) and 17–21.

Electronic Transactions Act 2000 (NSW)

[3.230] *Electronic Transactions Act 2000* (NSW), ss 5, 13A, 14A–14E.

5 Interpretation

(1) In this Act:

addressee of an electronic communication means a person who is intended by the originator to receive the electronic communication, but does not include a person acting as an intermediary with respect to the electronic communication.

automated message system means a computer program or an electronic or other automated means used to initiate an action or respond to data messages in whole or in part, without review or intervention by a natural person each time an action is initiated or a response is generated by the system.

electronic communication means:

(a) a communication of information in the form of data, text or images by means of guided or unguided electromagnetic energy, or both, or

(b) a communication of information in the form of sound by means of guided or unguided electromagnetic energy, or both, where the sound is processed at its destination by an automated voice recognition system.

information system means a system for generating, sending, receiving, storing or otherwise processing electronic communications.

transaction includes:

(a) any transaction in the nature of a contract, agreement or other arrangement, and

(b) any statement, declaration, demand, notice or request, including an offer and the acceptance of an offer, that the parties are required to make or choose to make in connection with the formation or performance of a contract, agreement or other arrangement, and

(c) any transaction of a non-commercial nature.

Electronic Transactions Act 2000 (NSW) cont.

Part 2 Application of legal requirements to electronic communications

13A Time of Receipt

(1) For the purposes of a law of this jurisdiction, unless otherwise agreed between the originator and the addressee of an electronic communication:

(a) the time of receipt of the electronic communication is the time when the electronic communication becomes capable of being retrieved by the addressee at an electronic address designated by the addressee, or

(b) the time of receipt of the electronic communication at another electronic address of the addressee is the time when both:

(i) the electronic communication has become capable of being retrieved by the addressee at that address, and

(ii) the addressee has become aware that the electronic communication has been sent to that address.

(2) For the purposes of subsection (1), unless otherwise agreed between the originator and the addressee of the electronic communication, it is to be assumed that the electronic communication is capable of being retrieved by the addressee when it reaches the addressee's electronic address.

(3) Subsection (1) applies even though the place where the information system supporting an electronic address is located may be different from the place where the electronic communication is taken to have been received under section 13B.

Part 2A Additional provisions applying to contracts involving electronic communications

14A Application and operation of this Part

This Part applies to the use of electronic communications in connection with the formation or performance of a contract between parties where the proper law of the contract is (or would on its formation be) the law of this jurisdiction, and so applies:

(a) whether some or all of the parties are located within Australia or elsewhere, and

(b) whether the contract is for business purposes, for personal, family or household purposes, or for other purposes.

14B Invitation to treat regarding contracts

(1) A proposal to form a contract made through one or more electronic communications that:

(a) is not addressed to one or more specific parties, and

(b) is generally accessible to parties making use of information systems,

is to be considered as an invitation to make offers, unless it clearly indicates the intention of the party making the proposal to be bound in case of acceptance.

(2) Subsection (1) extends to proposals that make use of interactive applications for the placement of orders through information systems.

14C Use of automated message systems for contract formation – non-intervention of natural person

A contract formed by:

(a) the interaction of an automated message system and a natural person, or

(b) the interaction of automated message systems,

is not invalid, void or unenforceable on the sole ground that no natural person reviewed or intervened in each of the individual actions carried out by the automated message systems or the resulting contract.

14D Error in electronic communications regarding contracts

Electronic Transactions Act 2000 (NSW) cont.

(1) This section applies in relation to a statement, declaration, demand, notice or request, including an offer and the acceptance of an offer, that the parties are required to make or choose to make in connection with the formation or performance of a contract.

(2) If:

(a) a natural person makes an input error in an electronic communication exchanged with the automated message system of another party, and

(b) the automated message system does not provide the person with an opportunity to correct the error,

the person, or the party on whose behalf the person was acting, has the right to withdraw the portion of the electronic communication in which the input error was made if:

(c) the person, or the party on whose behalf the person was acting, notifies the other party of the error as soon as possible after having learned of the error and indicates that he or she made an error in the electronic communication, and

(d) the person, or the party on whose behalf the person was acting, has not used or received any material benefit or value from the goods or services, if any, received from the other party.

(3) The right of withdrawal of a portion of an electronic communication under this section is not of itself a right to rescind or otherwise terminate a contract.

(4) The consequences (if any) of the exercise of the right of withdrawal of a portion of an electronic communication under this section are to be determined in accordance with any applicable rule of law.

In some circumstances the withdrawal of a portion of an electronic communication may invalidate the entire communication or render it ineffective for the purposes of contract formation (see paragraph 241 of the UNCITRAL explanatory note for the United Nations Convention on the Use of Electronic Communications in International Contracts).

14E Application of Act in relation to contracts

(1) Subject to subsection (2), the provisions of sections 7 and 13-13B apply to:

(a) a transaction constituted by or relating to a contract, or

(b) an electronic communication relating to the formation or performance of a contract,

in the same way as they apply to a transaction or electronic communication referred to in those sections, and so apply as if the words "For the purposes of a law of this jurisdiction" were omitted.

(2) However, this Part (including subsection (1)) does not apply to or in relation to a contract to the extent that:

(a) Part 2 would of its own force have the same effect as this Part if this Part applied, or

(b) a law of another State or Territory (that is in substantially the same terms as Part 2) would of its own force have the same effect as this Part if this Part applied.

Note: This section applies provisions of Part 2 to contracts or proposed contracts to the extent (if any) that those provisions do not apply merely because they are expressed to apply in relation to a law of this jurisdiction. This section also disapplies the provisions of Part 2A to the extent that Part 2 would apply of its own force. An example where Part 2 may not apply of its own force is where a contract is being negotiated in a State or Territory from a supplier located overseas.

[3.235] The Guide to Enactment of the 1996 Model law was produced by UNCITRAL to provide assistance to legislators, users of electronic communications and scholars. The full text of the guide can be found at: http://www.uncitral.org.

Guide to Enactment of the UNCITRAL Model Law on Electronic Commerce

[3.240] United Nations Commission on International Trade Law (UNCITRAL), *Guide to Enactment of the UNCITRAL Model Law on Electronic Commerce* (1996).

I. Introduction To The Model Law

A. Objectives

2. The use of modern means of communication such as electronic mail and electronic data interchange (EDI) for the conduct of international trade transactions has been increasing rapidly and is expected to develop further as technical supports such as information highways and the INTERNET become more widely accessible. However, the communication of legally significant information in the form of paperless messages may be hindered by legal obstacles to the use of such messages, or by uncertainty as to their legal effect or validity. The purpose of the Model Law is to offer national legislators a set of internationally acceptable rules as to how a number of such legal obstacles may be removed, and how a more secure legal environment may be created for what has become known as "electronic commerce". The principles expressed in the Model Law are also intended to be of use to individual users of electronic commerce in the drafting of some of the contractual solutions that might be needed to overcome the legal obstacles to the increased use of electronic commerce ….

B. Scope

1. The title of the Model Law refers to "electronic commerce". While a definition of "electronic data interchange (EDI)" is provided in article 2, the Model Law does not specify the meaning of "electronic commerce". In preparing the Model Law, the Commission decided that, in addressing the subject matter before it, it would have in mind a broad notion of EDI, covering a variety of trade-related uses of EDI that might be referred to broadly under the rubric of "electronic commerce" …, although other descriptive terms could also be used. Among the means of communication encompassed in the notion of "electronic commerce" are the following modes of transmission based on the use of electronic techniques: communication by means of EDI defined narrowly as the computer-to-computer transmission of data in a standardized format; transmission of electronic messages involving the use of either publicly available standards or proprietary standards; transmission of free-formatted text by electronic means, for example through the INTERNET. It was also noted that, in certain circumstances, the notion of "electronic commerce" might cover the use of techniques such as telex and telecopy [ie, facsimile] ….

2. *Article 15*. Time and place of dispatch and receipt of data messages

102. Paragraph (2), the purpose of which is to define the time of receipt of a data message, addresses the situation where the addressee unilaterally designates a specific information system for the receipt of a message (in which case the designated system may or may not be an information system of the addressee), and the data message reaches an information system of the addressee that is not the designated system. In such a situation, receipt is deemed to occur when the data message is retrieved by the addressee. By "designated information system", the Model Law is intended to cover a system that has been specifically designated by a party, for instance in the case where an offer expressly specifies the address to which acceptance should be sent. The mere indication of an electronic mail or telecopy address on a letterhead or other document should not be regarded as express designation of one or more information systems.

Correspondence between offer and acceptance

Butler Machine Tool Co v Ex-Cell-O Corp (England)

[3.245] *Butler Machine Tool Co Ltd v Ex-Cell-O Corp (England) Ltd* [1979] 1 WLR 401 (Court of Appeal) – Appeal from Thesiger J.

[FACTS: The facts are set out by Lord Denning MR.]

LORD DENNING MR: [402] This case is a "battle of forms". The plaintiffs, the Butler Machine Tool Co Ltd, suppliers of a machine, on 23 May 1969, quoted a price for a machine tool of £75 535. Delivery was to be given in ten months. On the back of the quotation there were terms and conditions. One of them was a price variation clause. It provided for an increase in the price if there was an increase in the costs and so forth. The machine tool was not delivered until November 1970. By that time costs had increased so much that the sellers claimed an additional sum of £2 892 as due to them under the price variation clause.

The defendant buyers, Ex-Cell-O Corp (England) Ltd, rejected the excess charge. They relied on their own terms and conditions. They said:

We did not accept the sellers' quotation as it was. We gave an order for the self-same machine at the self-same price, but on the back of our order we had our own terms and conditions. Our terms and conditions did not contain any price variation clause.

The judge held that the price variation clause in the sellers' form continued through the whole dealing and so the sellers were entitled to rely upon it … The judge said that the sellers did all that was necessary and reasonable to bring the price variation clause to the notice of the buyers. He thought that the buyers would not "browse over the conditions" of the sellers; and then, by printed words in their (the buyers') document, trap the sellers into a fixed price contract.

[403] I am afraid that I cannot agree with the suggestion that the buyers "trapped" the sellers in any way. Neither party called any oral evidence before the judge. The case was decided on the documents alone. I propose therefore to go through them.

On 23 May 1969, the sellers offered to deliver one "Butler" double column plane-miller for the total price of £75 535. Delivery ten months (subject to confirmation at time of ordering) other terms and conditions are on the reverse of this quotation. On the back there were 16 conditions in small print starting with this general condition: "All orders are accepted only upon and subject to the terms set out in our quotation and the following conditions. These terms and conditions shall prevail over any terms and conditions in the buyer's order."

Clause 3 was the price variation clause. It said:

> Prices are based on present day costs of manufacture and design and having regard to the delivery quoted and uncertainty as to the cost of labour, materials etc during the period of manufacture, we regret that we have no alternative but to make it a condition of acceptance of order that goods will be charged at prices ruling upon date of delivery.

The buyers replied on 27 May 1969, giving an order in these words: "Please supply on terms and conditions as below and overleaf."

Below there was a list of the goods ordered, but there were differences from the quotation of the sellers in these respects:

(1) there was an additional item for the cost of installation, £3 100; and

(2) there was a different delivery date (instead of ten months, it was 10-11 months).

Overleaf there were different terms as to the cost of carriage: in that it was to be paid to the delivery address of the buyers: whereas the sellers' terms were ex warehouse. There were different terms as to the right to cancel for late delivery. The buyers in their conditions reserved the right to cancel if delivery was not made by the agreed date: whereas the sellers in their conditions said that cancellation of order due to late delivery would not be accepted.

Butler Machine Tool Co v Ex-Cell-O Corp (England) cont.

On the foot of the buyers' order there was a tear-off slip headed: "Acknowledgment: Please sign and return to Ex-Cell-O. We accept your order on the terms and conditions stated thereon – and undertake to deliver by – Date – signed." In that slip the delivery date and signature were left blank ready to be filled in by the sellers.

On 5 June 1969, the sellers wrote this letter to the buyers:

> We have pleasure in acknowledging receipt of your official order dated 27 May covering the supply of one Butler Double Column Plane-Miller. This being delivered in accordance with our revised quotation of 23 May for delivery in 10/11 months, that is, March/April 1970. We return herewith duly completed your acknowledgment of order form.

They enclosed the acknowledgment form duly filled in with the delivery date March/April 1970 and signed by the Butler Machine Tool Co.

No doubt a contract was then concluded. But on what terms? The sellers rely on their general conditions and on their last letter which said: [404] "in accordance with our revised quotation of 23 May" (which had on the back the price variation clause). The buyers rely on the acknowledgment signed by the sellers which accepted the buyer's order "on the terms and conditions stated thereon" (which did not include a price variation clause).

If those documents are analysed in our traditional method, the result would seem to me to be this: the quotation of 23 May, 1969, was an offer by the sellers to the buyers containing the terms and conditions on the back. The order of 27 May, 1969, purported to be an acceptance of that offer in that it was for the same machine at the same price, but it contained such additions as to cost of installation, date of delivery and so forth that it was in law a rejection of the offer and constituted a counter-offer. That is clear from *Hyde v Wrench* (1840) 3 Beav 334; 49 ER 132. As Megaw J said in *Trollope & Colls Ltd v Atomic Power Constructions Ltd* [1963] 1 WLR 333 at 337: "the counter-offer kills the original offer." The letter of the sellers of 5 June, 1969, was an acceptance of that counter-offer, as is shown by the acknowledgment which the sellers signed and returned to the buyers. The reference to the quotation of 23 May referred only to the price and identity of the machine.

To go on with the facts of the case. The important thing is that the sellers did not keep the contractual date of delivery which was March/April 1970. The machine was ready about September 1970 but by that time the buyers' production schedule had to be rearranged as they could not accept delivery until November 1970. Meanwhile the sellers had invoked the price increase clause. They sought to charge the buyers an increase due to the rise in costs between 27 May 1969 (when the order was given), and 1 April 1970 (when the machine ought to have been delivered). It came to £2 892. The buyers rejected the claim. The judge held that the sellers were entitled to the sum of £2 892 under the price variation clause. He did not apply the traditional method of analysis by way of offer and counter-offer. He said that in the quotation of 23 May 1969: "one finds the price variation clause appearing under a most emphatic heading stating that it is a term or condition that is to prevail." So he held that it did prevail.

I have much sympathy with the judge's approach to this case. In many of these cases our traditional analysis of offer, counter-offer, rejection, acceptance and so forth is out of date. This was observed by Lord Wilberforce in *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd* [1975] AC 154 at 167. The better way is to look at all the documents passing between the parties – and glean from them, or from the conduct of the parties, whether they have reached agreement on all material points – even though there may be differences between the forms and conditions printed on the back of them. As Lord Cairns said in *Brogden v Metropolitan Railway Co* (1877) 2 App Cas 666 at 672: "there may be a *consensus* between the parties far short of a complete mode of expressing it, and that *consensus* may be discovered from letters or from other documents of an imperfect and incomplete description."

Applying this guide, it will be found that in most cases when there is a "battle of forms", there is a contract as soon as the last of the forms is sent and received without objection being taken to it. That is well observed in *Benjamin's Sale of Goods* (9th ed, 1974), p 84. The difficulty is to decide which

Butler Machine Tool Co v Ex-Cell-O Corp (England) cont.

form, or which part of which form, is a term or condition of the contract. In some cases the battle is won by the man who fires the last shot. [405] He is the man who puts forward the latest terms and conditions: and, if they are not objected to by the other party, he may be taken to have agreed to them. Such was *British Road Services Ltd v Arthur V Crutchley & Co Ltd* [1968] 1 Lloyd's Rep 271 at 281-2 per Lord Pearson; and the illustration given by Prof Guest in *Anson's Law of Contract* (24th ed), pp 37, 38 when he says: "the terms of the contract consist of the terms of the offer subject to the modifications contained in the acceptance." In some cases the battle is won by the man who gets the blow in first. If he offers to sell at a named price on the terms and conditions stated on the back: and the buyer orders the goods purporting to accept the offer – on an order form with his own different terms and conditions on the back – then if the difference is so material that it would affect the price, the buyer ought not to be allowed to take advantage of the difference unless he draws it specifically to the attention of the seller. There are yet other cases where the battle depends on the shots fired on both sides. There is a concluded contract but the forms vary. The terms and conditions of both parties are to be construed together. If they can be reconciled so as to give a harmonious result, all well and good. If differences are irreconcilable – so that they are mutually contradictory – then the conflicting terms may have to be scrapped and replaced by a reasonable implication.

In the present case the judge thought that the sellers in their original quotation got their blow in first: especially by the provision that: "these terms and conditions shall prevail over any terms and conditions in the buyer's order."

It was so emphatic that the price variation clause continued through all the subsequent dealings and that the buyers must be taken to have agreed to it. I can understand that point of view. But I think that the documents have to be considered as a whole. And, as a matter of construction, I think the acknowledgment of 5 June, 1969, is the decisive document. It makes it clear that the contract was on the buyers' terms and not on the sellers' terms: and the buyers' terms did not include a price variation clause.

I would therefore allow the appeal and enter judgment for the defendants.

[3.250] LAWTON LJ: The modern commercial practice of making quotations and placing orders with conditions attached, usually in small print, is indeed likely, as in this case to produce a battle of forms. The problem is how should that battle be conducted? The view taken by Thesiger J was that the battle should extend over a wide area and the court should do its best to look into the minds of the parties and make certain assumptions. In my judgment, the battle has to be conducted in accordance with set rules. It is a battle more on classical 18th century lines when convention decided who had the right to open fire first rather than in accordance with the modern concept of attrition.

The rules relating to a battle of this kind have been known for the past 130 odd years. They were set out by Lord Langdale MR in *Hyde v Wrench* to which Lord Denning MR has already referred; and, if anyone should have thought they were obsolescent, Megaw J in *Trollope & Colls Ltd v Atomic Power Constructions Ltd* called attention to the fact that those rules are still in force.

When those rules are applied to this case, in my judgment, the answer [406] is obvious. The sellers started by making an offer. That was in their quotation. The small print was headed by the following words: "General. All orders are accepted only upon and subject to the terms set out in our quotation and the following conditions. These terms and conditions shall prevail over any terms and conditions in the buyer's order."

That offer was not accepted. The buyers were only prepared to have one of these very expensive machines on their own terms. Their terms had very material differences in them from the terms put forward by the sellers. They could not be reconciled in any way. In the language of Art 7 of the *Uniform Law on the Formation of Contracts for the International Sale of Goods* (see *Uniform Laws on International Sales 1967*, Sched 2) they did "materially alter the terms" set out in the offer made by the plaintiffs.

As I understand *Hyde v Wrench*, and the cases which have followed, the consequence of placing the order in that way, if I may adopt Megaw J's words [1963] 1 WLR 333 at 337, was "to kill the original

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offer". It follows that the court has to look at what happened after the buyers made their counter-offer. By letter dated 4 June, 1969, the plaintiffs acknowledged receipt of the counter-offer, and they went on in this way: "Details of this order have been passed to our Halifax works for attention and a formal acknowledgment of order will follow in due course."

That is clearly a reference to the printed tear-off slip which was at the bottom of the buyers' counter-offer. By letter dated 5 June 1969, the sales office manager at the plaintiffs' Halifax factory completed that tear-off slip and sent it back to the buyers.

It is true, as Mr Scott has reminded us, that the return of that printed slip was accompanied by a letter which had this sentence in it: "This is being entered in accordance with our revised quotation of 23 May for delivery in 10/11 months."

I agree with Lord Denning MR that, in business sense, that refers to the quotation as to the price and the identity of the machine, and it does not bring into the contract the small print conditions on the back of the quotation. Those small print conditions had disappeared from the story. That was when the contract was made. At that date it was a fixed price contract without a price escalation clause.

As I pointed out in the course of argument to Mr Scott, if the letter of 5 June which accompanied the form acknowledging the terms which the buyers had specified had amounted to a counter-offer, then in my judgment the parties never were ad idem. It cannot be said that the buyers accepted the counter-offer by reason of the fact that ultimately they took physical delivery of the machine. By the time they took physical delivery of the machine, they had made it clear by correspondence that they were not accepting that there was any price escalation clause in any contract which they had made with the plaintiffs.

I agree with Lord Denning MR that this appeal should be allowed.

[In a separate judgment, BRIDGE LJ said that the case was plainly governed by the classical doctrine that a counter-offer amounts to a rejection of an offer and puts an end to the effect of the offer. He agreed that the appeal be allowed.]

Appeal allowed.

[3.255] **Note**

Compare the UNIDROIT Principles of International Commercial Contracts 2016, Arts 2.1.11, 2.1.12 and 2.1.22.

CHAPTER **4**

Consideration

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[4.05] The second element necessary for contract formation is consideration. A promise will be enforceable at common law only if it is supported by consideration or made under seal (ie, in the form of a deed). A promise that is not supported by consideration may be enforceable in equity on the basis of equitable estoppel if it has been relied upon to the detriment of the promisee (see Chapter 9).

History of the Doctrine of Consideration

[4.10] E Jenks, *The History of the Doctrine of Consideration in English Law* (Cambridge University Press, London, 1892).

[81] Every true contract contains a promise. A consideration is a detriment or liability voluntarily incurred by the promisee … or a benefit conferred on the promisor at the instance of the promisee … in exchange for the promise. Such consideration may be either the performance, or the promise, of an act or forebearance. If it be the performance, the consideration is said to be *executed*, if the promise, to be *executory* …. In accordance with the general rule of law, the onus of proving the existence of a consideration usually rests upon the party setting up the contract, whether the consideration appears in writing or not …. In ordinary cases it is immaterial whether or [not] the consideration be economically adequate to the promise, but gross inadequacy of consideration, though in [82] itself no objection to the validity of a contract, either at law or in equity, may be evidence of fraud. On the other hand, the consideration must be genuine, and, if *executed*, it must not consist of an illegal or immoral act, nor, if *executory*, must it contemplate an illegal or immoral object; and the existence of an illegal or immoral consideration may be proved by external evidence, though the contract be embodied in writing, or even in a deed. Finally, in the case of executory considerations which fail or become impossible, the promisor will be wholly or partially released from his obligation, and may even recover back money paid under the contract.

[4.15] **Notes**

Jenks describes consideration in terms of benefit and detriment given "in exchange for the promise". Consideration has also been defined as "the price for which the promise of the other is bought": *Pollock on Contracts* (8th ed, 1911), p 175. Both definitions connote an element of bargain, which lies at the heart of the modern doctrine of consideration.

THE ESSENTIAL ELEMENTS

Australian Woollen Mills v Commonwealth

[4.20] *Australian Woollen Mills Pty Ltd v Commonwealth* (1954) 92 CLR 424 (Privy Council); (1955) 93 CLR 546 (High Court of Australia) – Action.

[FACTS: The *plaintiff* (Australian Woollen Mills Pty Ltd) claimed that a unilateral contract had arisen out of the Commonwealth government's wool subsidy scheme. The scheme was introduced after World War II, at a time when wool was scarce. The Commonwealth subsidised purchases of wool by manufacturers of woollen products to enable those manufacturers to supply the products at low prices. In 1946, the Commonwealth announced in a series of letters to manufacturers, including the plaintiff, that it would pay a subsidy on all wool purchased for domestic use by Australian manufacturers. AWM purchased large quantities of wool over the next two years, including purchases in April, May and June 1948 in respect of which the subsidy had not been paid. In June 1948, the Commonwealth announced that it was discontinuing the scheme but would ensure that each manufacturer would have a certain amount of subsidised wool in stock on 30 June 1948. The stockpile of wool held by AWM exceeded this amount, and so the Commonwealth required AWM to repay the subsidy paid on that excess. AWM repaid that amount but later sued to recover it, along with the unpaid subsidy on the April, May and June purchases.]

THE COURT (DIXON CJ, WILLIAMS, WEBB, FULLAGAR and KITTO JJ): [456] The contracts alleged by the plaintiff are pleaded in paras 3 and 4a of the statement of claim.

Paragraph 3 alleges:

> At or prior to the commencement of the wool season 1946–1947 the defendant promised the plaintiff that in consideration that the plaintiff would during that season purchase wool at auction and otherwise than at auction for domestic consumption in Australia the defendant would pay to the plaintiff a subsidy.

The alleged mode of determining the amount of the subsidy is then set out, but this may be put on one side for the moment. Paragraph 4a contains an identical allegation in respect of the wool season 1947–1948. In each case there follows an allegation that the plaintiff made purchases of wool from time to time "in pursuance of the said agreement". The contract put forward by the plaintiff is thus seen to be of that type which is commonly said to be constituted by an offer of a promise for an act, the offer being accepted by the doing of the act. Such contracts are sometimes described as "unilateral" contracts, but the term is open to criticism on the ground that it is unscientific and misleading. There must of necessity be two parties to a contractual obligation. The position in such cases is simply that the consideration on the part of the offeree is completely executed by the doing of the very thing which constitutes acceptance of the offer. A well-known example in which a contract was held to have been made is to be found in *Carlill v Carbolic Smoke Ball Co* [1893] 1 QB 256 … Other well-known examples are the cases in which a reward is offered for the giving of information or for the finding and return of lost property and the cases in which there is forbearance by a creditor in return for the debtor's promise to give security.

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In cases of this class it is necessary, in order that a contract may be established, that it should be made to appear that the statement or announcement which is relied on as a promise was really offered as consideration for the doing of the act, and that the act was really done in consideration of a potential promise inherent in the statement or announcement. Between the statement or announcement, which is put forward as an offer capable of acceptance by the doing of an act, and the act which is put forward as the executed consideration for the alleged promise, there must subsist, so to speak, [457] the relation of a quid pro quo. One simple example will suffice to illustrate this. A, in Sydney, says to B in Melbourne: "I will pay you £1 000 on your arrival in Sydney." The next day B goes to Sydney. If these facts alone are proved, it is perfectly clear that no contract binding A to pay £1 000 to B is established. For all that appears there may be no relation whatever between A's statements and B's act. It is quite consistent with the facts proved that B intended to go to Sydney anyhow, and that A is merely announcing that, if and when B arrives in Sydney, he will make a gift to him. The necessary relation is not shown to exist between the announcement and the act. Proof of further facts, however, might suffice to establish a contract. For example, it might be proved that A, on the day before the £1 000 was mentioned, had told B that it was a matter of vital importance to him (A) that B should come to Sydney forthwith, and that B objected that to go to Sydney at the moment might involve him in financial loss. These further facts throw a different light on the statement on which B relies as an offer accepted by his going to Sydney. They are not necessarily conclusive but it is now possible to infer:

(1) that the statement that £1 000 would be paid to B on arrival in Sydney was intended as an offer of a promise;

(2) that the promise was offered as the consideration for the doing of an act by B; and

(3) that the doing of the act was at once the acceptance of an offer and the providing of an executed consideration for a promise.

The necessary connection or relation between the announcement and the act is provided if the inference is drawn that A has requested B to go to Sydney.

The position has been stated above in terms of the technical doctrine of consideration, and this is, in our opinion, the correct way of stating it. But it may be referred to a principle which is fundamental to any conception of contract. It is of the essence of contract, regarded as a class of obligation, that there is a voluntary assumption of a legally enforceable duty. In such cases as the present, therefore, in order that a contract may be created by offer and acceptance, it is necessary that what is alleged to be an offer should have been intended to give rise, on the doing of the act, to an obligation. The intention must, of course, be judged in the light of the principle laid down in *Freeman v Cooke* (1848) 2 Ex 654; 154 ER 652 at 656, but, in the absence of such an intention, actual or imputed, the alleged "offer" cannot lead to a contract; there is, indeed, in such a case no true "offer".

[458] A test which has not seldom been applied in such cases in order to determine whether a contract has been made or not is to ask whether there has been a request by the alleged promisor that the promisee shall do the act on which the latter relies. Such a request may, of course, be expressed or implied. In an interesting article in the Law Quarterly Review (1953) 69 LQR 99, to which Mr Windeyer referred us and which has already been incidentally mentioned, Mr JC Smith maintains that the presence of a request, express or implied, is an essential element in every true offer. Sir A Goodhart ((1951) 67 LQR 456 and (1953) 69 LQR 106), contests this general proposition, maintaining in effect that the essential thing, in a case such as the present, is that the "offeror" should state a price which the "offeree" must pay if he wishes to purchase a promise. This way of putting the position does not seem to differ materially from the way in which we have put it above. At the same time, it can hardly be denied that the presence or absence of an implied request to do the act may often provide a useful test for determining whether there has been a true offer and a true acceptance such as to bring a contract into existence. We are really applying the same test if we ask whether the "offer" was made in order to induce the doing of the act …

The presence or absence of an implied request that the act be done has been regarded as material in a number of cases. In *Carlill's* case itself it is regarded as material by both Bowen LJ and AL Smith LJ. Bowen LJ says: "A further argument for [459] the defendants was that this was a nudum pactum …

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that there was no consideration at all; in fact, that there was no request, express or implied, to use the smoke ball": [1893] 1 QB 256 at 270, 271. His Lordship then refers to [two cases] and proceeds: "The short answer, to abstain from academical discussion is, it seems to me, that there *is* here a request to use involved in the offer": at 271 …

Several other illustrative cases are cited in Mr Smith's article. It will suffice here to mention two cases, the one nearly a hundred years old and the other very recent. The correctness of the actual decision in *Shadwell v Shadwell* (1860) 9 CB (NS) 159; 142 ER 62, is likely to be forever debated. Erle CJ and Keating J took, in the light of all the circumstances, one view of the letter on which the plaintiff relied: Byles J took another view. But the approach of all the learned judges to the problem of fact was exactly the same. Erle CJ and Keating J said:

> First, do these facts shew a loss sustained by the plaintiff at his uncle's request? … If the promise was made *in order to induce* the parties to marry, the promise so made would be in legal effect a request to marry. Secondly, do these facts shew a benefit derived from the plaintiff to the uncle, at his request? … If the promise of the annuity was intended as an inducement to the marriage … this is the consideration averred in the declaration: (1860) 142 ER 62 at 68.

Bales J said: "The inquiry therefore narrows itself to this question — Does the letter itself disclose any consideration for the promise? The consideration relied on by the plaintiff's counsel being the subsequent marriage of the plaintiff": (1860) 142 ER 62 at 69. Then after discussing the contents of the letter he says: "The question, therefore, is still further narrowed to this point — Was the marriage at the testator's request? *Express* request there was none. Can any request be implied?" (1860) 142 ER 62 at 69.

His Lordship concludes that no such request can be implied, and that the marriage could not be said: "to have taken place *at* the testator's request or, in other words, in consequence of that request": (1860) 142 ER 62 at 69. The very recent case is *Combe v Combe* [1951] 2 KB 215. [460] This is one of the "forbearance" cases. Denning LJ said:

> Unilateral promises of this kind have long been enforced, so long as the act or forbearance is done on the faith of the promise and at the request of the promisor, express or implied. The act done is then in itself sufficient consideration for the promise, even though it arises ex post facto: at 221.

And Asquith LJ (as he then was) said: "I do not think an actual forbearance, as opposed to an agreement to forbear to approach the court, is a good consideration unless it proceeds from a request, express or implied, on the part of the promisor. If not moved by such a request, the forbearance is *not in respect of* the promise": at 226, 227.

Coming to the present case, it is impossible, in our opinion, to hold that any contract was constituted at any stage binding the Commonwealth to pay a subsidy to the plaintiff, or to any manufacturer, in consideration of a purchase of wool for local manufacture …

Judgment for defendant.

[Australian Woollen Mills Ltd appealed to the Privy Council. In the course of their judgment dismissing the appeal (1955) 93 CLR 546, their Lordships said:]

[4.25] [548] The first answer of the respondent to this claim is that there were no contracts; that the basis of the scheme was not contractual but administrative, and that the letters contained statements of policy and not contractual offers …

[554] Their Lordships are of the opinion that these letters cannot be read as an offer or offers to contract. They contain a statement of [555] policy. The "scheme" is to be administered by the Commission which is itself to determine the amount of the subsidy. No single phrase or provision may be decisive. The letters must be read as a whole. If the intention had been to provide for a series of

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contracts one would as between these parties have expected a form containing the provisions which, if disputes arose, would be construed and applied by the courts. The number of uncertain factors make it natural that the basis should be administrative. Nor is there anything remarkable in the fact that the manufacturers should be content to act on the respondent's statement of policy. A further letter of 20 August elaborating the procedure emphasises the control which the respondent thought the Commission was keeping on the scheme …

[550] The appellant further submitted that the respondent wanted the manufacturers to purchase so that there could be woollen goods on the home market. There was therefore an implied request to do so. Let this be admitted. It does not appear to their Lordships to advance the argument. There may be cases where the absence of a request negatives the existence of a contract. The presence of a request does not, however, in itself establish a contract. Manufacturers may be requested to come into and work a non-contractual scheme. On this aspect of the argument their Lordships think, with all respect, there was force in the criticism of that passage in the judgment of the High Court in which it is said that there was nothing in the nature of a request or invitation …

Appeal dismissed.

Beaton v McDivitt

[4.30] *Beaton v McDivitt* (1987) 13 NSWLR 162 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Young J.

[FACTS: The McDivitts (the *respondents)* owned 25 acres of land but farmed only a portion of it. Mr McDivitt believed that the local council was likely to rezone the land within two years and that the council rates would then be increased substantially. McDivitt feared that he would be unable to pay the new rates and he decided to divide the land into four blocks, three to be retained by himself and his family, the fourth to be made available to "someone interested in the form of cultivation known as permaculture to work the block". He said that he would transfer the title to the block to the person selected when the rezoning took place.

Mr Beaton (the *appellant*) was told of this plan by a mutual friend, and the Beatons then had discussions with the McDivitts. As a result of those discussions, the Beatons moved on to the fourth block, farmed the land using permaculture methods and, in accordance with oral undertakings given to McDivitt, assisted in the creation and maintenance of a road which gave access to the block. After seven years, a dispute arose and McDivitt ordered the Beatons off the land. Young J said:

> Doing the best I can, in my view what happened was this, Mr McDivitt feared that the zoning would be changed which would affect his rates, knew that he was not using the whole of his 25 acres, thought it would be nice to have someone who was interested in permaculture work on part of the land, and was quite willing to give part of the land to that person if and when the land was rezoned …
>
> Accordingly, the essential facts as I have found them, are that the defendants made a proposal to Mr Beaton that he would come on to lot B and work it rent free, and that when subdivision took place, which was thought to be only a short time, that is, a matter of two to three years away from being a legal possibility, the Beatons, or at least Mr Beaton, would be given the title to lot B in fee simple. Mr Beaton accepted this proposal and he suffered some detriment in acting upon it in that he spent approximately $1,000 on planting trees and shrubs on the land. He has, of course, also spent seven years living on the land and working on it, though there must also be taken into account the fact that he has occupied that land without payment.

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Young J held that the Beatons had not given consideration sufficient to satisfy the bargain requirement of something given in exchange for the promise. He found, however, that there was a line of cases starting with *Dillwyn v Llewelyn* which represented "an exception to the modern requirement that a contract should be a bargain supported by consideration in the nature of a quid pro quo". The Beatons' acts of reliance were sufficient to give rise to a "*Dillwyn v Llewelyn* type contract". Young J held, however, that this contract had been frustrated. Accordingly, the Beatons were not entitled to remain on the land. Mr Beaton appealed.]

KIRBY P: [168] By our law, consideration is an essential requirement for an enforceable contract. Without consideration, a promise is unenforceable at law. The modern theory of consideration has arisen from the notion that a contract is a bargain struck between the parties by an exchange. By that modern theory, consideration must be satisfied in the form of a price in return for the promisor's promise or a quid pro quo. The price can be in the form of an act, forbearance or promise. In *Pollock on Contracts*, 13th ed (1950) at 133 Sir Frederick Pollock, in words adopted by Lord Dunedin in *Dunlop Pneumatic Tyre Co Ltd v Selfridge and Co Ltd* [1915] AC 847 at 855, expressed the idea of consideration as the "price in return" in the following way: "An act or forbearance of one party, or the promise thereof, is the price for which the promise of the other is bought, and the promise thus given for value is enforceable."

The triumph of the bargain theory of consideration necessary for a contract amounts to a rejection of the theory of contractual obligation based upon reliance. This shift may have come about as a result of the mercantile attitudes and the requirements of England in the eighteenth and nineteenth centuries. It may reflect the consequent final subordination of Roman Law doctrines, founded ultimately in notions of relationships and morality: see P S Atiyah, *The Rise and Fall of Freedom of Contract* (1979) at 499 f but cf J H Baker (1980) 43 Mod L Rev 467 f and sources there cited. Whatever the origins and explanations for this shift (to the extent that they can now be known given that such disputes were typically resolved by jury verdicts) it was necessary, thereafter, to have resort to courts of equity for the enforcement of claims based on relationships. For in the courts of law, duties arising from bargains entered between free parties were to be enforced, not duties deriving from suggested moral obligations such as those deriving from relationships.

The High Court of Australia has accepted this "modern" or bargain doctrine of consideration.

In *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424 at 456–7, the Court (Dixon CJ, Williams, Webb, Fullagar and Kitto JJ) said, relevant to the present arrangement:

> In cases of this class it is necessary, in order that a contract may be established, that it should be made to appear that the statement or announcement which is relied on as a promise was really offered as consideration for the doing of the act, and that the act was really done in [169] consideration of a potential promise inherent in the statement or announcement. Between the statement or announcement, which is put forward as an offer capable of acceptance by the doing of an act, and the act which is put forward as the executed consideration for the alleged promise, there must subsist, so to speak, the relation of a quid pro quo.

Young J (rightly in my opinion) was unable to find consideration in this sense in the facts of the present case. It is just not possible, however indulgently one approaches those facts with sympathy to the appellant, to classify the promises he made as a quid pro quo for the suggested promise of the respondent, in certain circumstances, to transfer title in the land to him. At the time, the appellant was having difficulties with his landlord. Therefore, a right to occupy and use the respondents' land rent free was of considerable benefit to him. What other possible benefit did the respondents derive of the kind which the High Court said in the *Australian Woollen Mills* case was necessary for an enforceable contract? True it is they would have somebody living on the land. True also they might hope that such person would be a congenial neighbour, sharing with them their peculiar ideas about horticulture. But these scarcely amount to a quid pro quo for such a substantial promise as the passing of title and the taking of steps to that end. I do not in this conclusion overlook the fact that the law is not concerned

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with the sufficiency of the suggested consideration. I examine the facts simply to see whether those suggested benefits which passed to the respondent can properly be classified as consideration. In my opinion the expenditures and actions of the appellant are more properly to be categorised as entirely for his own benefit and that of his family. The element of congeniality and of having on the land a neighbour of like horticultural practices is not valuable consideration. It is more akin to domestic and social arrangements and the natural love and affection which have long been held not to amount to consideration sufficient to establish a binding contract …

There is a policy behind the law's insistence upon consideration of the kind explained. People make foolish and ill considered promises to confer gifts and other benefits on others. Especially do they do so, one might say, in the festive atmosphere of the Christmas and New Year season. In the cold light of the dawns that follow, disputes require courts to decide whether these promises will be enforced. Leaving aside equitable relief occasioned by the dealings between the parties, why should the law hold a party to such a promise of a gift unless it can be demonstrated that, in return for such a promise, the promisor received some bargain from the promisee by way of quid pro quo? In a sense, this shows our law (which has generally declined to adopt the formalism of the civil law approach to contract) insisting upon a bargain before it will attach legal consequences to the unformalised dealings of the parties. The law is not concerned (in this respect) with the equality of [170] the bargain. But in some cases the "bargain" will be so illusory or one-sided that a quid pro quo will not be found. Formality apart, the suggested "contract" will then not be enforced at law.

But was the promise made on New Year's Eve 1977, that the appellant would maintain the private road to the property, a sufficient quid pro quo to amount to consideration to sustain an enforceable contract? In my view it was not. Any "agreement" between the parties was made on 26 December 1977. Talk about the road did not arise until nearly a week later. Even then it arose only in response to the appellant's offer to pay the rates. That very offer indicates the appellant's acknowledgment of the great benefit which he was receiving. Any promise made to maintain the road (which after all was necessary to secure access to the appellant's home) cannot be classified as one demanded or offered in exchange for the alleged promise of the respondents to transfer title. In the manner in which the additional term as to the road arose, it was not contemplated by the respondents' promise, earlier accepted by the appellant. Accordingly it cannot represent consideration. I therefore agree with Young J's conclusion that no contract was made between the parties which would be enforced according to the conventional or "modern" view about the requirement of valuable consideration for a contract enforceable at law.

Gift and ex post facto consideration

[4.35] But was Young J right in holding that a contract of the kind found in *Dillwyn v Llewelyn* existed here and would be enforced by the law of contract? His Honour analysed the line of cases which have followed *Dillwyn v Llewelyn*. He concluded that its conceptual classification was not estoppel but the survival of an old contract principle of detriment, as an exception to the modern requirement that a contract should be a bargain supported by consideration in the nature of a quid pro quo.

Whatever may be the position elsewhere, I consider that to hold as Young J did would be to subvert the principle accepted unanimously by the High Court of Australia in *Australian Woollen Mills*. Moreover, it would be to undermine the simplicity of the requirements of contract law and the uniform approach to the definition therein of the requirements of consideration. Given the clear way in which contract law has moved from a "detriment" to a "bargain" theory, I regard the belated attempt to suggest an exception founded on *Dillwyn v Llewelyn* as unconceptual and unhistorical. However that may be, it is impermissible to the courts in Australia until the High Court of Australia reviews and modifies its decision in the *Australian Woollen Mills case*.

In any case, close analysis of the judgment of Lord Westbury LC in *Dillwyn v Llewelyn* suggests that the basis for equitable intervention in that case was proprietary estoppel. The inter-relationship of common law and equity is notoriously troublesome. But it is both obligatory and desirable in this Court to preserve the unity of contract law by avoiding suggested exceptions to the rule that

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consideration for an alleged promise must involve "the relation of a quid pro quo". The "exception" to the general rule thought by Young J to be necessary is better classified not as an exception to the requirement of a quid pro quo for consideration but as an illustration of the [171] relief which equity will sometimes give, based upon estoppel, whatever may be the rights of the parties in law.

It is suggested that the quid pro quo for the transfer of the block of land assigned to the appellant was his act in coming upon and working the block by means of the particular form of horticulture specified by the respondents. Once he did so, it is argued that it was not open to the respondents to withdraw their offer. I do not consider that this is the correct analysis of the arrangement between them. I have mentioned the difficulties which the appellant was having with his landlord because of which the offer of rent-free accommodation must have seemed remarkably well timed. The lack of specificity as to the work and expenditure to be carried out by the appellant on the land (reinforced by the evidence of the lack of substantial work in actuality) combined with the fact that the appellant contemplated and performed some work as part of his own business to his own advantage suggests (as do numerous other indications) that, both before and after the Yuletide conversations in 1977, the true classification of the appellant's occupation of the land was that of a bare licensee.

If it be relevant to look to whether the appellant acted to his detriment, I do not believe that he did. On the contrary, the arrangement made was entirely to his advantage. If, as I have held, it is necessary to decide whether the appellant gave a quid pro quo for the suggested promise to transfer the land, I do not believe he did. Properly considered, the true interpretation of events appears to be that the respondent for reasons of congeniality and commitment to a shared idea of horticulture invited the appellant onto part of his land. No rent or other relevant consideration passed from the appellant to the respondents for this permission. No relevant detriment was suffered by the appellant. He received rent-free accommodation for seven years. To enforce the Boxing Day promise (apart from the many other difficulties it faced) would in my view amount to the enforcement of a contract made without consideration. This conclusion relieves me of the obligation to consider whether any such contract, if made, would have been frustrated by the events which later occurred ….

Relief in equity

[4.40] This conclusion brings me to the alternative way in which the appellant sought relief, so far as still pressed in this Court. This was that, whatever the position in law, it would be unconscionable for the legal owners of the land (the respondents) to insist upon their legal rights and that equity would provide relief to the appellant. One such circumstance where relief will be provided is where there is unconscionable behaviour on the part of the legal owner in circumstances in which another party is incurring expenditure, to the knowledge of the owner. Even where the owner may not request or excite that behaviour, where the expenditure is induced by an expectation of obtaining protection, equity will intervene to ensure that an injustice may not be perpetrated …

[172] [S]o far as any expenditure which the appellant made on that part of the respondents' property which he occupied, this is entirely explained by the appellant's own domestic and business needs and interests. The appellant and his family enjoyed the property, rent free, for seven years before the judgment of Young J. Despite all that has occurred and not occurred, including the absence of rezoning, the absence of consent by the council, the absence of the Minister's consent and the delay of years far beyond that originally contemplated, to now suggest that equity can only be satisfied by the transfer of an interest in the land to the appellant is so disproportionate to the identified detriments to which the appellant can point, that I cannot accept that equity would in the circumstances lend its aid.

[173] There being no enforceable contract between the parties and no equity which the courts would enforce in favour of the appellant, I have concluded that the orders of Young J should be sustained ….

[4.45] McHUGH JA: [180] The learned judge found that the plaintiff gave no consideration in the conventional sense for the defendant's promise to make the land over to him. However, his Honour

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said that, where a person has made a promise of a conditional gift and the promisee has relied on that promise to his detriment, the promisee gives ex post facto consideration for the promise and that makes it contractually enforceable. Young J referred to many cases where promises to make a gift of land have been enforced against the promisor when the promisee had acted to his detriment in reliance on the promise: see for example, *Dillwyn v Llewelyn* (1862) 4 De G F & J 517; 45 ER 1285; *Ramsden v Dyson* (1866) LR 1 HL 129. Professor Atiyah regards this line of decisions as based on the law of contract and as an exception to the bargain theory of contract: see *Consideration in Contracts: A Fundamental Restatement* (1971), pp 30–3. Young J accepted this analysis. The principle upon which his Honour relied is succinctly stated by Jordan CJ in *New South Wales Trotting Club Ltd v Glebe Municipal Council* (1937) 37 SR (NSW) 288 where his Honour said:

> if a person lays out money in improving land which he knows to belong to another, and does so, to the knowledge of the other, on the faith of an express or implied promise from that other that he is to have some interest in the land, a court of equity, so far as it can, will compel the other to give effect to the promise. It is pointed out in *Canadian Pacific Railway Co v The King* [1931] AC 414 at 428 that this type of case depends on contract express or implied.

However, in my opinion it is not open to this court to regard this line of cases of which *Dillwyn v Llewelyn* and *Ramsden v Dyson* are well known examples as contract based. It is true that statements can be found in many of them which suggest that the promise is enforceable because the parties have made a contract. As late as 1961 Nagle J, sitting in the Full Court in *Commonwealth v A E Goodwin Ltd* [1962] SR (NSW) 315, 325; [1961] NSWR 1080, 1090, declared that contract was the basis of these decisions. But this is not the explanation which more recent authorities have placed on them. Nor in the light of the decision of the High Court in *Australian Woollen Mills Pty Ltd v Commonwealth* (1954) 92 CLR 424 is it possible for this court to hold that the *Dillwyn v Llewelyn* line of cases is contract based. The statement by Jordan CJ to which I have referred and which Young J quoted in his judgment cannot now be considered an accurate statement of the law.

The jurisprudential basis of the plaintiff's claim

[4.50] [181] Historically, the doctrine of consideration was nearly identical with the motive for making a promise. Before it could be decided whether the promise was binding, a court had to know why the promise was made: Simpson, *A History of the Common Law of Contract* (1975), p 321. Historically, there was little difference between the common law conception of consideration and the Roman idea of "causa". But in the 19th century, the basis of consideration moved from motive and reliance to bargain. By 1842 Patteson J could say in *Thomas v Thomas* (1842) 2 QB 851, 859; 114 ER 330, 333–4:

> It would be giving to causa too large a construction if we were to adopt the view urged by the defendant: it would be confounding consideration with motive … Motive is not the same thing with consideration. Consideration means something which is of some value in the eye of the law, moving from the plaintiff: it may be of some benefit to the plaintiff or some detriment to the defendant; but at all events it must be moving from the plaintiff.

In *Currie v Misa* (1875) LR 10 Exch 153 at 162, Lush J, in the course of giving the judgment of Keating, Quain and Archibald JJ and himself, gave the now classic definition: "A valuable consideration, in the sense of the law, may consist either in some right, interest, profit, or benefit accruing to one party, or some forbearance, detriment, loss, or responsibility, given, suffered, or undertaken by the other."

The element of bargain is inherent in this definition.

In the United States, O W Holmes Jnr was a strong proponent of the bargain theory. In *The Common Law* (De Wolfe Howe ed), he said (at 230): "The root of the whole matter is the relation of reciprocal conventional inducement, each for the other, between consideration and promise."

This sentence was quoted with evident approval by Isaacs ACJ in *The Crown v Clarke* (1927) 40 CLR 227 at 236.

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By the beginning of the 20th century, Pollock was able to say that an "act or forbearance of one party, or the promise thereof, is the price for which the promise of the other is bought, and the promise thus given for value is enforceable": *Pollock on Contracts* (8th ed, 1911), p 175. Pollock's definition was adopted by Lord Dunedin in *Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd* [1915] AC 847 at 855.

In the United States the bargain theory has been extended to the point where nothing is regarded as consideration "which is not regarded as such by both parties": *Restatement, Contracts*, 2d, s 75(1). English law has not gone so far: see Treitel, "Consideration: A Critical Analysis of Professor Atiyah's Fundamental Restatement" (1976) 50 ALJ 439 at 440. However, the essential elements of the bargain theory were adopted in *The Crown v Clarke* and in *Australian Woollen Mills Pty Ltd v Commonwealth*.

The ratio decidendi of *Australian Woollen Mills Pty Ltd v Commonwealth* is that the expenditure of money in reliance on an announcement by the government that it would pay a subsidy to a manufacturer on wool purchased and used for local manufacture is not itself sufficient to create a contract to pay the subsidy …

The reasoning of the High Court … accepts the basic element of the bargain theory of consideration and amounts to a rejection of a reliance based theory of consideration.

Modern writers on contract law have criticised the use of the bargain theory as the exclusive test of consideration: see Atiyah at 27–8; Gilmore, *The Death of Contract* (1974), pp 19–21, 60–5; Sutton, *Consideration Reconsidered* (1974), p 33; Greig and Davis, *The Law of Contract* (1987), pp 75–8. The criticisms of these writers would extend to the theory of consideration applied in *Australian Woollen Mills Pty Ltd v Commonwealth*. However, the current theory of consideration has its modern supporters (see Treitel, *Law of Contract* (6th ed, 1983), pp 51–4) and the paper given by Sir Anthony Mason and Gageler at the Australian National University, "The Contract". However, so far as this court is concerned, the discussion is academic. In the case of a unilateral contract such as the present, the law relating to consideration is laid down in *Australian Woollen Mills Pty Ltd v Commonwealth*. None of the cases to which Young J referred, therefore, can be treated as contract based unless there was a quid pro quo for the defendant's promise.

The jurisprudential basis of cases such as *Dillwyn v Llewelyn*, in my opinion, is that equity will not allow a person to insist upon his strict rights when it is unconscionable to do so …

Although I disagree with the jurisprudential basis on which Young J found a contract in this case, I am of the opinion that his Honour was correct in finding a contract. However, as will be seen, I do not fully agree with all that his Honour said as to the terms of that contract.

The contract

[4.55] When a person promises or offers to transfer property to another person, care must be taken to distinguish between three situations. The first concerns a promise to transfer property subject to the occurrence of an event or condition. The promise will not be enforceable even if the event or condition [183] occurs. An example is a bare promise to pay X $100 if a certain team wins a football match. The second situation concerns a promise to transfer property after which the promisor allows the promisee to act to his detriment in reliance on the promise. In this situation, depending on the circumstances, equity may prevent the promisor insisting on his strict rights and may enforce the promise. The third situation is where the promise contains an express or implied request by the promisor to do an act or fulfil a condition. In that situation the doing of the act or the fulfilling of the condition by the promisee in reliance on the promise will usually constitute consideration and create a binding contract: see *Australian Woollen Mills Pty Ltd v Commonwealth* and *Combe v Combe* [1951] 2 KB 215 [and *Carlill v Carbolic Smoke Ball Co.* [1893] 1 QB 256] ….

In the present case, I think that the promise made by Mr McDivitt was an offer which was intended to give rise to an obligation on the part of himself and his wife upon the plaintiff coming and working on the land. Mr McDivitt was concerned that the land would be rezoned, that the rates would go up, and that he would not be able to pay them when he went on the pension. Accordingly, he decided

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to subdivide the land. Upon the transfer of three of the blocks after subdivision, he would obtain a benefit because his rates would be reduced. This motivated him to offer the block in return for a person coming and working the block by means of organic farming. Thus the consideration for the transfer of the block was the act of the plaintiff in coming and working the block by means of organic farming at the request of the McDivitts.

Once the plaintiff went on to the land and commenced to work the block, it was not open to the McDivitts to withdraw their offer ….

By entering onto lot B and performing work, the plaintiff had suffered sufficient detriment to constitute consideration even though he was obliged to work the land until the time of subdivision before he was entitled to the transfer of lot B …

Frustration

[4.60] … With great respect to the learned trial judge, I am unable to conclude that the contract was frustrated by December 1982 or at all. His Honour found, and it was common ground on this appeal, that the present zoning did not prevent the subdivision of the land of the McDivitts. Nor with respect was there any evidence from which a conclusion could be drawn that an application for subdivision would certainly fail.

His Honour's finding concerning the terms of the contract did not include any term that the plaintiff's right to the transfer of the land depended upon the rezoning of the land. The plaintiff's right arose upon the subdivision of the land. Moreover, the evidence does not establish that the fulfilment of the [185] offer was dependent upon the land being rezoned. I have already set out the plaintiff's evidence. On that evidence the question of rezoning, while a motivating factor, was not a condition of the transfer of the land …

It may well be that, without the rezoning of the land, no approval will be given to the subdivision. However, subdivision is not a legal impossibility; it is possible that in all the circumstances the council might permit the land to be subdivided to enable the title to lot B to pass to the plaintiff.

The duty to co-operate

[4.65] The McDivitts have a contractual duty to do everything necessary on their part to enable the plaintiff to have the benefit of the contract: *Secured Income Real Estate (Aust) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 at 607 per Mason J. Accordingly, it is and was their duty to do everything in their power necessary to have the land subdivided so as to transfer "lot B" to the plaintiff. No doubt it was not a breach of that duty for the McDivitts to wait and see whether the land would be rezoned. But if the land is not to be rezoned, then the fulfilment of the McDivitts' duty requires that they make an application under the present zoning. If that application fails and if it appears that there is no prospect in the foreseeable future of a [186] subdivision being carried through, then it may be proper to conclude that the contract between the parties has been frustrated. But in my opinion that moment has not yet been reached. Moreover, it necessarily follows from what I have said that the plaintiff is entitled to work lot B and remove the fruits of his labour.

[McHugh JA concluded that the plaintiff was entitled to have the block transferred to him conditional upon the appropriate consent of the council and the minister being obtained.]

[4.70] MAHONEY JA: [175] In my opinion, the transaction between the parties constituted a contract. To adopt the Ansonian approach, the defendants offered the plaintiff a promise for an act: they promised to transfer the land if Mr Beaton came on the land and worked it as they discussed. The appeal has proceeded on the basis that Mr Beaton did, or did substantially, the act in question. Therefore there was a binding contract ….

[176] I think the conclusion should be drawn that Mr Beaton also did what he did upon the basis that the transfer of the land to him was to be made as and when the land was rezoned and therefore could be subdivided …

It is therefore necessary to determine the significance of the contemplated rezoning in the contractual obligations of the parties.

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On the facts as the learned judge found them, I would be inclined to think — at least it might be argued — that the rezoning was a condition subsequent to the contractual arrangements made. On this basis, the defendants would be contractually bound to transfer the land to Mr Beaton but they would not be bound to effect the transfer unless and until the rezoning took place.

If the rezoning was a condition, then it was not fulfilled. No time was specified within which the rezoning was to take place. In the absence of specification of time, the implication would be, I think, that it should take place within a reasonable time. And, on the evidence, I would conclude that that time has now elapsed. That being so, it would be open to the defendants to terminate and what they have done constitutes such a determination.

However, before this Court the parties did not argue the significance of rezoning as a condition of the contract. I do not think that the learned judge made a definitive finding in this regard. There may be reasons why, had such an argument been raised and pursued, it would have been rejected: it may be that evidence could have been called upon the matter. I therefore do not think it is proper for this Court to hold that rezoning was a condition of the contract or that, if it was, the contract has been terminated by failure of it.

What, then, should this Court see as the significance of the rezoning?

For the reasons I have given, it is proper to approach this question upon the basis that, though the parties regarded rezoning as they did, it was not a contractual term in their contract. On this basis, I agree with his Honour's conclusion that the fact that there was not a contemplated rezoning by the time of the hearing effects a termination of the contract. The fact that the rezoning was specifically contemplated by the parties does not, I think, prevent the doctrine of frustration operating. Ordinarily an event operating by way of frustration will not be expressly contemplated or the subject of an [177] express provision in an agreement. But there is, in my opinion, nothing in the doctrine of frustration which will prevent it operating where the parties have contracted on an expressed assumption which in the event proves false: see generally *Brisbane City Council v Group Projects Pty Ltd* (1979) 145 CLR 143 and *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337.

In so far as the applicability of the doctrine of frustration is to be tested by the circumstances, I think that, had a bystander said to the parties in 1977: But what if the rezoning does not take place?, they would both have said that (subject to one matter): Of course, the land cannot be transferred. And that, in principle, provides the basis for the operation of frustration.

The matter that I have mentioned is the provision for an accounting of what should come from or go to Mr Beaton if his contractual rights in the land were to come to an end. It would be expected that the parties would have said not merely "Of course …" but "Of course … but …".

I do not think that, if conditions subsequent be put aside, the fact that there would be a qualified "Of course" prevents the operation of the doctrine of frustration, at least in the present case. I do not think that, in principle, it prevents that doctrine operating. The fact of the qualification would go, not to frustration, but to what would follow from it. To that I shall return subsequently.

There remains the possibility that a rezoning may take place. But, as far as the evidence shows, there is no present prospect of a rezoning. The contemplation was, as his Honour said, that there would be a rezoning within some two years. Ten years and more have passed. I think that, in these circumstances, the theoretical possibility of a rezoning in the future does not prevent the contract coming to an end.

… it was not suggested — at least the matter was not pursued before the learned judge — that efforts by the defendants could or would have procured a rezoning. I do not think that the contemplation of the contract was that the defendants should produce a rezoning: the contract was upon the basis of a rezoning resulting, not from the efforts of the defendants but otherwise. The defendants were, in my opinion, under no obligation to procure it and the imposition of a term upon them that they should seek so to do would be wrong.

Appeal dismissed.

ADEQUACY OF CONSIDERATION

[4.75] The courts and writers draw a distinction between *adequate* consideration and *sufficient* or *good* consideration. Although the terms are not always used with perfect consistency, the adequacy of consideration refers to its intrinsic value. The determination of the sufficiency of consideration involves the question whether, for what are ultimately public policy reasons, certain consideration should be denied legal efficacy.

Subject to the doctrine of illusory consideration, the general principle is that the courts do not inquire into the adequacy of consideration, that is, the comparative value of the consideration and the promise or act in return for which it is given. Thus, a nominal consideration – such as a peppercorn, a canary or a piece of coal – will be adequate consideration.

Woolworths v Kelly

[4.80] *Woolworths Ltd v Kelly* (1991) 22 NSWLR 189 (Court of Appeal of the Supreme Court of New South Wales).

KIRBY P: [193] There are a number of reasons why the common law has declined to weigh the adequacy of consideration in judging whether a particular bargain amounts to a legally enforceable contract:

1. In the marketplace, in the myriad of situations which lead to contracts, different participants will put different values upon the bargain they are getting. The subject of a bargain may be specially important to a party. It may be valued for idiosyncratic, sentimental, ethical and other reasons as well as economic reasons. That is why it has been said so often that it is impossible for the law to indulge in an evaluation of the equivalence of the promises exchanged by parties to a contract: see, eg, *American University v Todd* 1 A 2d 595 (1938) at 598;
2. Judges deciding disputed contract cases are lawyers. Parties whose disputes come to law are advised by lawyers. Lawyers enjoy a special training. But that training may not prepare them to evaluate the multitude of economic and other decisions daily made by people of different, and even like, backgrounds in entering into bargains. The disinclination of the courts to become involved in economic evaluation derives, in part, from a realisation of the limited expertise of lawyers. That expertise does not necessarily qualify the lawyer to substitute his or her opinion about the wisdom of the bargain achieved for that of the parties, so long as some consideration for the bargain can be demonstrated;
3. If courts were to entertain disputes concerning the adequacy, or inadequacy, of consideration for a bargain, and if such issues were justiciable, they would lead to litigation prone to open up a vast territory of evidence. Courts would have to try the adequacy of consideration upon testimony. Different decision-makers would reach different conclusions upon the same evidence;
4. The prospect of such disputes would produce a great deal of uncertainty in an area of the law where certainty has great economic importance to society. In contract law it is highly desirable that uncertainty about whether a bargain is legally enforceable be minimised. In so far as any suggestion is made to enlarge the area of the exceptions to the disinclination of the common law to evaluate the sufficiency of consideration, I would be disinclined to go beyond those which are well founded on clear authority: cf *Beaton v McDivitt* (1987) 13 NSWLR 162 at 169;
5. The law provides means, in particular cases, to challenge the adequacy of a bargain where some wrong or moral fault can be shown to justify the challenge. Thus, if there was no intention to enter into contractual relations at all, the bargain will not be enforced. Equitable relief will also sometimes be available to prevent enforcement of a contract contrary to conscience. [194] Statutory and other relief has been provided by law to meet cases of unconscionable or unjust contracts. Federal and State statutes have been enacted to provide expressly for such relief: see, eg, *Trade Practices Act 1974* (Cth), s 87; *Contracts Review Act 1980*, s 7; *Industrial Arbitration Act 1940*, s 88F. Relief may be granted for mistake. Contracts may be rectified. Restitution may be

Woolworths v Kelly cont.

ordered. But at law, the rule against inquiring into the adequacy or inadequacy of considerations stands firm. It should not, in my view, be changed: cf *State Rail Authority of New South Wales v Heath Outdoor Pty Ltd* (1986) 7 NSWLR 170 at 177; *Geftakis v Maritime Services Board of New South Wales*, (Court of Appeal, unreported, 20 November 1987); *Biotechnology Australia Pty Ltd v Pace* (1988) 15 NSWLR 130 at 133 and *Austotel Pty Limited v Franklins Selfserve Stores Pty Ltd* (1989) 16 NSWLR 582 at 585F;

6. The restraint of the common law in this regard is also an attribute of economic liberty. That liberty extracts a price in social terms. However, respecting the right of parties at law to reach their own bargains, untroubled by the paternalistic superintendence of the courts as to the adequacy of their bargains is the approach which the common law has adopted. It is an approach protective of economic freedom.

SUFFICIENCY OF CONSIDERATION

Past consideration

[4.85] Past consideration is not considered sufficient consideration. Thus, if P performs an apparently gratuitous service for D and D later promises to pay P for that service, D's promise will not be enforceable. The service performed by P is past and cannot provide consideration supporting D's later promise. The courts have recognised an exception to this principle in the case of a promise to pay for past services which were rendered on the basis that they were to be paid for (see *Pao On v Lau Yiu Long* [1980] AC 614 at [4.150]).

Roscorla v Thomas

[4.90] *Roscorla v Thomas* (1842) 3 QB 234; 114 ER 496 (Court of Queen's Bench) – Rule Nisi for Arrest of Judgment.

[FACTS: The plaintiff bought a horse from the defendant. After the sale was made, the defendant promised the plaintiff that the horse was sound and free from vice. The plaintiff sought damages for breach of warranty, claiming the horse was not free from vice but was "very vicious, restive, ungovernable and ferocious".]

LORD DENMAN CJ delivered the judgment of the Court. [236] This was an action of assumpsit for breach of warranty of the soundness of a horse. The first count of the declaration, upon which alone the question arises, stated that, in consideration that the plaintiff, at the request of the defendant, had bought of the defendant a horse for the sum of £30, the defendant promised that it was sound and free from vice. And it was objected, in arrest of judgment, that the precedent executed consideration was insufficient to support the subsequent promise. And we are of opinion that the objection must prevail.

It may be taken as a general rule, subject to excep-[237]tions not applicable to this case, that the promise must be coextensive with the consideration. In the present case, the only promise that would result from the consideration, as stated, and be coextensive with it, would be to deliver the horse upon request. The precedent sale, without a warranty, though at the request of the defendant, imposes no other duty or obligation upon him. It is clear, therefore, that the consideration stated would not raise an implied promise by the defendant that the horse was sound or free from vice.

Roscorla v Thomas cont.

But the promise in the present case must be taken to be, as in fact it was, express: and the question is, whether that fact will warrant the extension of the promise beyond that which would be implied by law; and whether the consideration, though insufficient to raise an implied promise, will nevertheless support an express one. And we think that it will not.

The cases in which it has been held that, under certain circumstances, a consideration insufficient to raise an implied promise will nevertheless support an express one, will be found collected and reviewed in the note (a) to *Wennall v Adeney* (1802) 3 Bos & Pul 247; 127 ER 137, and in the case of *Eastwood v Kenyon* (1840) 11 A & E 438; 113 ER 482. They are cases of voidable contracts subsequently ratified, of debts barred by operation of law, subsequently revived, and of equitable and moral obligations, which, but for some rule of law, would of themselves have been sufficient to raise an implied promise. All these cases are distinguishable from, and indeed inapplicable to, the present, which appears to us to fall within the general rule, that a consideration past and executed will support no other promise than such as would be implied by law.

[238] The rule for arresting the judgment upon the first count must therefore be made absolute.

Rule absolute.

The existing legal duty rule

The general rule

[4.95] A promise to perform an existing contractual duty is not regarded as sufficient consideration. The issue often arises in the context of a one-sided modification of an existing contract.

In *TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd* (1955) 56 SR (NSW) 323 (see [10.90]), the defendants agreed to supply certain galvanised iron to the plaintiffs at £109 15s per ton. Subsequently the defendants refused to deliver the goods unless the price was increased by £27 per ton, citing a great increase in the price of zinc as the reason. Under protest, the plaintiffs made the additional funds available and in due course received the iron. The plaintiffs then successfully sued to recover the additional amount paid. The court, in holding that the defendants had given no consideration for any promise, the plaintiffs might have made to pay the additional price, said (at 327):

> the only consideration which was suggested in argument as being given in exchange for the alleged promise was that the [defendant] would do what was necessary to ensure that the goods were delivered. But we are satisfied that the [defendant] was bound to do so under the original contract. In our view every promise allegedly given to the plaintiff by the defendant under the so called second agreement was identical with a promise given under the original agreement.

See also *Stilk v Myrick* (1809) 2 Camp 317; 170 ER 1168, discussed in *Williams v Roffey Bros & Nichols (Contractors) Ltd* [1991] 1 QB 1 at [4.115] and *Wigan v Edwards* (1973) 1 ALR 497 at [4.170]. The rationale of the "existing contractual duty" rule is discussed in *Williams v Roffey Bros & Nichols (Contractors) Ltd* [1991] 1 QB 1 at [4.115] and *Musumeci v Winadell Pty Ltd* (1994) 34 NSWLR 723 at [4.125]. You will see that these cases also involve the application of the potentially expansive "practical benefit" exception to the existing legal duty rule.

Part payment of a debt

[4.100] A corollary of the rule that a promise to perform an existing contractual duty is no consideration is the rule in *Pinnel's Case*. The rule in *Pinnel's Case* is that a promise to pay part of a debt will not constitute consideration for a promise to accept the payment in satisfaction of the debt. For example, if D owes C $10, C's promise to accept $8 in full settlement of the debt will not, on its own, be contractually binding on C. D will not have provided good consideration for the promise.

The rule in *Pinnel's Case* will not apply where part payment of a debt is accompanied by some additional consideration from the debtor, even if that consideration is nominal.

Foakes v Beer

[4.105] *Foakes v Beer* (1884) 9 App Cas 605 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: On 11 August 1875, Beer recovered judgment against Foakes for £2 077 17s 2d for debt and £13 1s 10d for costs. On 21 December 1876, a memorandum of agreement was made and signed by Foakes and Beer in the following terms:

> Whereas the said John Weston Foakes is indebted to the said Julia Beer, and she has obtained a judgment in Her Majesty's High Court of Justice, Exchequer Division, for the sum of £2 090 19s. And whereas the said John Weston Foakes has requested the said Julia Beer to give him time in which to pay such judgment, which she has agreed to do on the following conditions. Now this agreement witnesseth that in consideration of the said John Weston Foakes paying to the said Julia Beer on the signing of this agreement the sum of £500, the receipt whereof she doth thereby acknowledge in part satisfaction of the said judgment debt of £2 090 19s, and on condition of his paying to her or her executors, administrators, assigns or nominee the sum of £150 on 1 July and January or within one calendar month after each of the said days respectively in every year until the whole of the said sum of £2 090 19s shall have been fully paid and satisfied, the first of such payments to be made on 1 July next, then she the said Julia Beer hereby undertakes and agrees that she, her executors, administrators or assigns, will not take any proceedings whatever on the said judgment.

Beer, having in June 1882 taken out a summons for leave to proceed on the judgment, an issue was directed to be tried between Beer as plaintiff and Foakes as defendant whether any and what amount was on 1 July 1882 due upon the judgment.

At the trial of the issue before Cave J, it was proved that the whole sum of £2,090 19s had been paid by instalments, but Beer claimed interest. The jury under his Lordship's direction found that Foakes had paid all the sums which by the agreement of 21 December 1876, he undertook to pay and within the times therein specified. Cave J was of opinion that whether the judgment was satisfied or not, Beer was, by reason of the agreement, not entitled to issue execution for any sum on the judgment.

The Queen's Bench Division (Watkin, Williams and Mathew JJ) discharged an order for a new trial on the ground of misdirection.]

[The Court of Appeal (Brett MR, Lindley and Fry LJJ) reversed that decision and entered judgment for the respondent for the interest due, with costs: 11 QBD 221.]

EARL OF SELBOURNE LC: [610] Although, therefore, I may (as indeed I do) very much doubt whether the effect of the agreement, as a conditional waiver of the interest to which she was by law entitled under the judgment, was really present to the mind of the judgment creditor, still I cannot deny that it might have that effect, if capable of being legally enforced.

[611] But the question remains, whether the agreement is capable of being legally forced. Not being under seal, it cannot be legally enforced against the respondent, unless she received consideration for it from the appellant, or unless, though without consideration, it operates by way of

Foakes v Beer cont.

accord and satisfaction, so as to extinguish the claim for interest. What is the consideration? On the face of the agreement none is expressed, except a present payment of £500, on account and in part of the larger debt then due and payable by law under the judgment. The appellant did not contract to pay the future instalments of £150 each, at the times therein mentioned; much less did he give any new security, in the shape of negotiable paper, or in any other form. The promise de futuro was only that of the respondent, that if the half-yearly payments of £150 each were regularly paid, she would "take no proceedings whatever on the judgment". No doubt if the appellant had been under no antecedent obligation to pay the whole debt, his fulfilment of the condition might have imported some consideration on his part for that promise. But he was under that antecedent obligation, and payment at those deferred dates, by the forbearance and indulgence of the creditor, of the residue of the principal debt and costs, could not (in my opinion) be a consideration for the relinquishment of interest and discharge of the judgment, unless the payment of the £500, at the time of signing the agreement, was such a consideration …

The question, therefore, is nakedly raised by this appeal, whether your Lordships are now prepared, not only to overrule, as contrary to law, the doctrine stated by Sir Edward Coke to [612] have been laid down by all the judges of the Common Pleas in *Pinnel's* case, 5 Co Rep 117a; 77 ER 237 in 1602, and repeated in his note to Littleton, s 344 (Co Litt 212b), but to treat a prospective agreement, not under seal, for satisfaction of a debt, by a series of payments on account to a total amount less than the whole debt, as binding in law, provided those payments are regularly made; the case not being one of a composition with a common debtor, agreed to, inter se, by several creditors … The doctrine itself, as laid down by Sir Edward Coke, may have been criticised, as questionable in principle, by some persons whose opinions are entitled to respect, but it has never been judicially overruled; on the contrary, I think it has always, since the 16th century, been accepted as law. If so, I cannot think that your Lordships would do right, if you were now to reverse, as erroneous, a judgment of the Court of Appeal, proceeding upon a doctrine which has been accepted as part of the law of England for 280 years.

The doctrine, as stated in *Pinnel's* case is:

> that payment of a lesser sum on the day [it would of course be the same after the day] in satisfaction of a greater, cannot be any satisfaction for the whole, because it appears to the judges, that by no possibility a lesser sum can be a satisfaction to the plaintiff for a greater sum.

As stated in Coke Littleton, 212b, it is: "where the condition is for payment of £20, the obligor or offeror cannot at the time appointed pay a lesser sum in satisfaction of the whole, because it is apparent that a lesser sum of money cannot be a satisfaction of a greater", adding (what is beyond controversy), that an acquittance under seal, in full [613] satisfaction of the whole, would (under like circumstances) be valid and binding.

The distinction between the effect of a deed under seal, and that of an agreement by parol, or by writing not under seal, may seem arbitrary, but it is established in our law; nor is it really unreasonable or practically inconvenient that the law should require particular solemnities to give to a gratuitous contract the force of a binding obligation. If the question be (as, in the actual state of the law, I think it is), whether consideration is, or is not, given in a case of this kind, by the debtor who pays down part of the debt presently due from him, for a promise by the creditor to relinquish, after certain further payments on account, the residue of the debt, I cannot say that I think consideration is given, in the sense in which I have always understood that word as used in our law. It might be (and indeed I think it would be) an improvement in our law, if a release or acquittance of the whole debt, on payment of any sum which the creditor might be content to receive by way of accord and satisfaction (though less than the whole), were held to be, generally, binding, though not under seal; nor should I be unwilling to see equal force given to a prospective agreement, like the present, in writing though not under seal; but I think it impossible, without refinements which practically alter the sense of the word to treat such a release or acquittance as supported by any new consideration proceeding from the

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debtor. All the authorities subsequent to *Cumber v Wane* (1 Sm LC, 8th ed, 366), which were relied upon by the appellant at your Lordship's Bar (such as *Sibree v Tripp* (1846) 15 M & W 23; 153 ER 745; *Curlewis v Clark* (1877) 3 Ex 375; and *Goddard v O'Brien* (1882) 9 QBD 37), have proceeded upon the distinction, that, by giving negotiable paper or otherwise, there had been some new consideration for a new agreement, distinct from mere money payments in or towards discharge of the original liability. I think it unnecessary to go through those cases, or to examine the particular grounds on which each of them was decided. There are no such facts in the case now before your Lordships. What is called "any benefit, or even any legal possibility of benefit", in Mr Smith's notes to *Cumber v Wane*, is not [614] (as I conceive) that sort of benefit which a creditor may derive from getting payment of part of the money due to him from a debtor, who might otherwise keep him at arm's length, or possibly become insolvent, but is some independent benefit, actual or contingent, of a kind which might in law be a good and valuable consideration for any other sort of agreement not under seal.

My conclusion is, that the order appealed from should be affirmed, and the appeal dismissed, with costs, and I so move your Lordships.

[LORD WATSON and LORD FITZGERALD delivered speeches in which they reached the same result.]

[4.110] LORD BLACKBURN: [622] What principally weighs with me in thinking that Lord Coke made a mistake of fact is my conviction that all men of business, whether merchants or tradesmen, do every day recognise and act on the ground that prompt payment of a part of their demand may be more beneficial to them than it would be to insist on their rights and enforce payment of the whole. Even where the debtor is perfectly solvent, and sure to pay at last, this often is so. Where the credit of the debtor is doubtful it must be more so. I had persuaded myself that there was no such long-continued action on this dictum as to render it improper in this House to reconsider the question. I had written my reasons for [623] so thinking; but as they were not satisfactory to the other noble and learned Lords who heard the case, I do not now repeat them nor persist in them.

I assent to the judgment proposed, though it is not that which I had originally thought proper.

Appeal dismissed.



Exceptions to the existing legal duty rule

Practical benefit

Williams v Roffey Bros & Nicholls (Contractors)

[4.115] *Williams v Roffey Bros & Nicholls (Contractors) Ltd* [1991] 1 QB 1 (Court of Appeal) – Appeal from County Court.

[FACTS: Roffey Bros (the *defendants*) held a contract (the main contract) to refurbish a block of 27 flats. They entered into a subcontract with Williams (the *plaintiff*) under which Williams was to carry out the carpentry in the flats. Williams commenced work, but because his agreed price of £20 000 was too low, got into financial difficulties. Roffey Bros were concerned that he might not be able to complete his contract. The main contract imposed a penalty for late completion.

The parties made an oral agreement whereby Roffey Bros were to pay Williams an additional £10 300 at the rate of £575 for each flat on which the carpentry had been completed. Williams continued

Williams v Roffey Bros & Nicholls (Contractors) cont.

work and substantially completed the carpentry on eight more flats, but after approximately seven weeks, the defendants having made only one payment of £1 500, ceased work on the flats. The defendants declined to pay the balance of the additional amount promised as well as an amount outstanding under the original contract. They subcontracted other carpenters and finished the refurbishment one week later. Williams sued for these amounts and Roffey Bros counterclaimed for damages for breach of contract.

The trial judge found that Williams was entitled to be paid for eight flats substantially completed since the oral agreement less "some small sum for defective and incomplete items", together with £2 200 owing under the original contract. He further found that as Williams had received only £1 500, he was entitled to stop work.]

GLIDEWELL LJ:

The issues

[7] Before us Mr Evans for the defendants advances two arguments. His principal submission is that the defendants' promise to pay an additional £10 300, at the rate of £575 per completed flat, is unenforceable since there was no consideration for it.

[8] Mr Evans' secondary argument is that the additional payment was only payable as each flat was completed. On the judge's findings, eight further flats had been "substantially" completed. Substantial completion was something less than completion. Thus none of the eight flats had been completed, and no further payment was yet due from the defendants …

[The doctrine of substantial performance is dealt with at [29.50]–[29.75].]

Was there consideration for the defendants' promise made on 9 April 1986 to pay an additional price at the rate of £575 per completed flat

[10] The judge made the following findings of fact which are relevant on this issue.

(i) The subcontract price agreed was too low to enable the plaintiff to operate satisfactorily and at a profit. Mr Cottrell, the defendants' surveyor, agreed that this was so.

(ii) Mr Roffey (managing director of the defendants) was persuaded by Mr Cottrell that the defendants should pay a bonus to the plaintiff. The figure agreed at the meeting on 9 April 1986 was £10 300.

The judge quoted and accepted the evidence of Mr Cottrell to the effect that a main contractor who agrees too low a price with a subcontractor is acting contrary to his own interests. He will never get the job finished without paying more money. The judge therefore concluded:

> In my view where the original subcontract price is too low, and the parties subsequently agree that additional moneys shall be paid to the subcontractor, this agreement is in the interests of both parties. This is what happened in the present case, and in my opinion the agreement of 9 April 1986 does not fail for lack of consideration.

In his address to us, Mr Evans outlined the benefits to his clients, the defendants, which arose from their agreement to pay the additional [11] £10 300 as:

(i) seeking to ensure that the plaintiff continued work and did not stop in breach of the subcontract;

(ii) avoiding the penalty for delay; and

(iii) avoiding the trouble and expense of engaging other people to complete the carpentry work.

However, Mr Evans submits that, though his clients may have derived, or hoped to derive, practical benefits from their agreement to pay the "bonus", they derived no benefit in law, since the plaintiff was promising to do no more than he was already bound to do by his subcontract, that is, continue with the carpentry work and complete it on time. Thus there was no consideration for the agreement.

Williams v Roffey Bros & Nicholls (Contractors) cont.

Mr Evans relies on the principle of law which, traditionally, is based on the decision in *Stilk v Myrick* (1809) 2 Camp 317; 170 ER 1168. That was a decision at first instance of Lord Ellenborough CJ. On a voyage to the Baltic, two seamen deserted. The captain agreed with the rest of the crew that if they worked the ship to London without the two seamen being replaced, he would divide between them the pay which would have been due to the two deserters. On arrival at London this extra pay was refused, and the plaintiff's action to recover his extra pay was dismissed. Counsel for the defendant argued that such an agreement was contrary to public policy, but Lord Ellenborough CJ's judgment was based on lack of consideration. It reads (at 318–19):

> I think *Harris v Watson* (1791) Peake 102; 170 ER 94 was rightly decided; but I doubt whether the ground of public policy, upon which Lord Kenyon is stated to have proceeded, be the true principle on which the decision is to be supported. Here, I say the agreement is void for want of consideration. There was no consideration for the ulterior pay promised to the mariners who remained with the ship. Before they sailed from London they had undertaken to do all they could under all the emergencies of the voyage. They had sold all their services till the voyage should be completed. If they had been at liberty to quit the vessel at Cronstadt, the case would have been quite different; or if the captain had capriciously discharged the two men who were wanting, the others might not have been compellable to take the whole duty upon themselves, and their agreeing to do so might have been a sufficient consideration for the promise of an advance of wages. But the desertion of a part of the crew is to be considered an emergency of the voyage as much as their death; and those who remain are bound by the terms of their original contract to exert themselves to the utmost to bring the ship in safety to her destined port. Therefore, without looking to the policy of this agreement, I think it is void for want of consideration, and that the plaintiff can only recover at the rate of £5 a month.

In *North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd* [1979] QB 705, Mocatta J regarded the general principle of the decision in *Stilk v Myrick* as still being good law …

[13] It was suggested to us in argument that, since the development of the doctrine of promissory estoppel, it may well be possible for a person to whom a promise has been made, on which he has relied, to make an additional payment for services which he is in any event bound to render under an existing contract or by operation of law, to show that the promisor is estopped from claiming that there was no consideration for his promise. However, the application of the doctrine of promissory estoppel to facts such as those of the present case has not yet been fully developed …

There is, however, another legal concept of relatively recent development which is relevant, namely, that of economic duress. Clearly if a subcontractor has agreed to undertake work at a fixed price, and before he has completed the work declines to continue with it unless the contractor agrees to pay an increased price, the subcontractor may be held guilty of securing the contractor's promise by taking unfair advantage of the difficulties he will cause if he does not complete the work. In such a case an agreement to pay an increased price may well be voidable because it was entered into under duress. Thus this concept may provide another answer in law to the question of policy which has [14] troubled the courts since before *Stilk v Myrick* and no doubt led at the date of that decision to a rigid adherence to the doctrine of consideration.

This possible application of the concept of economic duress was referred to by Lord Scarman, delivering the judgment of the Judicial Committee of the Privy Council in *Pao On v Lau Yiu Long* [1980] AC 614 …

[15] It is true that *Pao On* is a case of a tripartite relationship that is, a promise by A to perform a pre-existing contractual obligation owed to B, in return for a promise of payment by C. But Lord Scarman's words, at 634–5, seem to me to be of general application, equally applicable to a promise made by one of the original two parties to a contract.

Williams v Roffey Bros & Nicholls (Contractors) cont.

Accordingly, following the view of the majority in *Ward v Byham* [1956] 1 WLR 496 and of the whole court in *Williams v Williams* [1957] 1 WLR 148 and that of the Privy Council in *Pao On* the present state of the law on this subject can be expressed in the following proposition:

(i) if A has entered into a contract with B to do work for, or to supply goods or services to, B in return for payment by B; and

(ii) at some stage before A has completely performed his obligations under the contract B has reason to doubt whether A will, or will be able to, complete his side of the bargain; and

(iii) B thereupon promises A an additional payment in return for A's promise to perform [16] his contractual obligations on time; and

(iv) as a result of giving his promise, B obtains in practice a benefit, or obviates a disbenefit; and

(v) B's promise is not given as a result of economic duress or fraud on the part of A; then

(vi) the benefit to B is capable of being consideration for B's promise, so that the promise will be legally binding.

As I have said, Mr Evans accepts that in the present case by promising to pay the extra £10 300 his client secured benefits. There is no finding, and no suggestion, that in this case the promise was given as a result of fraud or duress. If it be objected that the propositions above contravene the principle in *Stilk v Myrick* I answer that in my view they do not; they refine, and limit the application of that principle, but they leave the principle unscathed for example, where B secures no benefit by his promise. It is not in my view surprising that a principle enunciated in relation to the rigours of seafaring life during the Napoleonic wars should be subjected during the succeeding 180 years to a process of refinement and limitation in its application in the present day. It is therefore my opinion that on his findings of fact in the present case, the judge was entitled to hold, as he did, that the defendants' promise to pay the extra £10 300 was supported by valuable consideration, and thus constituted an enforceable agreement …

For these reasons I would dismiss this appeal.

[4.120] RUSSELL LJ: [19] For my part I wish to make it plain that I do not base my judgment upon any reservation as to the correctness of the law long ago enunciated in *Stilk v Myrick*. A gratuitous promise, pure and simple, remains unenforceable unless given under seal. But where, as in this case, a party undertakes to make a payment because by so doing it will gain an advantage arising out of the continuing relationship with the promisee, the new bargain will not fail for want of consideration …. I too would dismiss this appeal.

[PURCHAS LJ delivered a judgment to a similar effect.]

Appeal dismissed.

Musumeci v Winadell

[4.125] *Musumeci v Winadell Pty Ltd* (1994) 34 NSWLR 723 (Supreme Court of New South Wales) – Action.

[FACTS: The plaintiffs were tenants of a fruit and vegetable shop in a shopping centre owned by the defendant. The introduction of a larger competing fruit and vegetable shop in the shopping centre threatened the ability of the tenants (the plaintiffs) to pay the full rent. The defendant landlord promised to accept a reduced rent but later sought to resile from that arrangement. The plaintiffs sought, inter alia, a declaration that the landlord had made a binding promise to reduce the rent. The principal issue was whether the tenants had given consideration for the landlord's promise.]

Musumeci v Winadell cont.

SANTOW J: [741]

Williams v Roffey — should it be followed in Australia?

There are three reasons which might be put as to why a contract to perform an existing obligation should not be enforced.

First, to protect the promisor from extortion, such as may result from threatening to breach a contract in order to exact a concession. Thus, for example, the two dollar unguaranteed corporate tenant in a falling market, whose directors threaten to walk away from a lease, unless rent concessions are conceded.

G H Treitel, *The Law of Contract* (8th ed, 1991) suggests (at 90 and 364) that this argument is much reduced in importance, now that such a refusal may constitute duress: *B and S Contracts and Designs Ltd v Victor Green Publications Ltd* [1984] ICR 419 was such a case. However it has been held by the Privy Council that a threat to breach a contract may not amount to duress, where there has been no "coercion of the will", having regard to alternative courses open: *Pao On v Lau Yiu Long*. The Australian cases, discussed below, make clear that coercion of the will is not essential for duress. One may choose to submit, without one's will being overborne, but by reason of illegitimate pressure consisting of unlawful threats or unconscionable conduct: *Crescendo Management Pty Ltd v Westpac Banking Corp* (1988) 19 NSWLR 40 at 45–6. Furthermore economic duress has not received unqualified acceptance as a basis for setting aside contracts in Australia.

Thus, in *Equiticorp Finance Ltd (in liq) v Bank of New Zealand* (1993) 32 NSWLR 50, [742] Kirby P (at 106) cast doubt on the utility of economic duress as a satisfactory remedy. He described it as an unsatisfactory and uncertain doctrine, lending itself to open ended formulae, little clarified by the cases over the last hundred years. He criticised its encouragement to the courts to substitute their own subjective opinion about agreements for those reached by the parties, particularly when substantial corporations. He preferred to see the concepts of economic duress invoked under sensibly limited and structured legislation like the *Contracts Review Act 1980* or more broadly, subsumed by the doctrine of undue influence and unconscionability.

Clark JA and Cripps JA did not reject the doctrine, but were satisfied it did not apply in the circumstances. This reflects the Court of Appeal's acceptance of economic duress in earlier cases such as *Crescendo Management Pty Ltd v Westpac Banking Corp*.

But does it follow that, because there is not as yet a fully developed doctrine for the avoidance of contracts on the grounds of economic duress (pace Hobhouse J in *The "Alev", Vantage Navigation Corp v Suhail and Saud Bahwan Building Materials LLC* [1989] 1 Lloyd's Rep 138 at 147, who thought otherwise), that therefore strict consideration should remain the discrimen for enforceability of contractual modifications? There are a number of reasons why not. If it is assumed that the underlying concern is to prevent coercive modifications, the traditional notion of consideration does not perform that role very well. Its very certainty is bought at the price of inflexibility. This produces a real disincentive to re-negotiate a contract which changed circumstances have made unduly onerous. This is especially if the outcome is likely to be unenforceable by reason of lack of consideration.

Even the presence of consideration does not preclude there having been economic duress inducing the contract. Consideration expressed in formalistic terms of one dollar can indeed actually cloak duress rather than expose it.

Posner J sets out incisively the policy issues as he saw them in *United States v Stump Home Specialties Manufacturing Inc* 905 F 2d 1117 (1990) at 1121–2:

> The requirement of consideration has, however, a distinct function in the modification setting — although one it does not perform well — and that is to prevent coercive modifications. Since one of the main purposes of contracts and of contract law is to facilitate long-term commitments, there is often an interval in the life of a contract during which one party is at the mercy of the other. A may have ordered a machine from B that A wants to place in operation on a given date, specified in their contract;

Musumeci v Winadell cont.

> and in expectation of B's complying with the contract, A may have made commitments to his customers that it would be costly to renege on. As the date of scheduled delivery approaches, B may be tempted to demand that A agree to renegotiate the contract price, knowing that A will incur heavy expenses if B fails to deliver on time. A can always refuse to renegotiate, relying instead on his right to sue B for breach of contract if B fails to make delivery by the agreed date. But legal remedies are costly and uncertain, thereby opening the way to duress. Considerations of commercial reputation will deter taking advantage of an opportunity to exert duress on a contract partner in many cases, but not in all. [743] …
>
> [7] The rule that modifications are unenforceable unless supported by consideration strengthens A's position by reducing B's incentive to seek a modification. But it strengthens it feebly … The law does not require that consideration be adequate — that it be commensurate with what the party accepting it is giving up. Slight consideration, therefore, will suffice to make a contract or a contract modification enforceable. And slight consideration is consistent with coercion. To surrender one's contractual rights in exchange for a peppercorn is not functionally different from surrendering them for nothing.
>
> The sensible course would be to enforce contract modifications (at least if written) regardless of consideration and rely on the defence of duress to prevent abuse … All coercive modifications would then be unenforceable, and there would be no need to worry about consideration, an inadequate safeguard against duress ….

I conclude that even if duress is not a fully developed doctrine, it is nonetheless a useful weapon. It, with fraud, is already introduced by element (v) of Glidewell LJ's formulation [see at [4.115], p 107], precluding enforcement of a promise so induced. Logically though, one should expand that element also to exclude promises induced by undue influence or unconscionable conduct, at the least.

But should our courts go further, as American courts have done, by drawing a line between legitimate inducement and extortion, doing so according to a doctrine of good faith, as suggested by Richard Hooley, *Consideration and the Existing Duty* [1991] JBL 19 at 27–8, 33–4? …

[744] … I consider that the notion of "good faith" is better replaced by the more precise and apposite one of "unfair pressure" on A's part inducing B's promise in element (v). Economic duress, as the cases demonstrate, cover[s] many examples of unfair pressure, but by no means all. Furthermore, where the circumstances giving rise to the re-negotiation were unforeseen by A at the time of the original contract, possibly reflecting unanticipated hardship in future performance by A, these still do not justify a demand for re-negotiation backed by unfair pressure. But such circumstances giving rise to that demand, may nonetheless have some influence on the court in judging fairness, by reference to proportionality of any pressure brought to bear.

Thus such a reformulation of element (v) might read as follows:

(v) B's promise is not given as a result of economic duress or fraud, or undue influence or unconscionable conduct on the part of A nor is it induced otherwise by unfair pressure on the part of A, having regard to the circumstances.

The second reason cited by *Treitel* (at 89) why the new promise should not be enforced, is that the promisee suffered no *legal* detriment in performing what was already due from him. Nor did the promisor receive any legal benefit in receiving what was already due to him. He answers that this way:

> But this reasoning takes no account of the fact that the promisee may in fact suffer a detriment: for example, the wages that a seaman could earn elsewhere may exceed those that he would earn under the original contract together with the damages that he would have to pay for breaking it.

Musumeci v Winadell cont.

> Conversely, the promisor may in fact benefit from the actual performance of what was legally due to him: in *Stilk v Myrick* the master got his ship home and this may well have been worth more to him than any damages that he could have recovered from the crew.

Indeed the very fact that a concession is extended by B, without extortion, supports an inference, though by no means conclusively, that consideration from A, in a real and practical sense, has moved that concession. The law is increasingly tending away from the artificial towards the substantive. Such a practical notion of consideration reflects that trend. It is a notorious fact that concessions are made to avoid the necessity for enforcing a contract whose performance is in jeopardy. It would indeed be far more artificial to treat such concessional modification to the contract as moved by a consideration consisting of cancellation of the old contract in return for the [745] new, an approach which the Court of Appeal in *Williams v Roffey* expressly and correctly disclaimed.

That leads to the third possible reason for why such a promise should not be enforced. It is expressed in the proposition that a benefit which is merely the hoped-for end result of performance cannot constitute consideration: *Brian Coote*. "If these matters are capable of being regarded as consideration the reality is that the existing duty rule no longer applies, for in every case these types of benefits will be present"; Carter and Harland, *Contract Law in Australia* (at 109). The authors of that text go further: "Indeed, it is because contracting parties regard such matters as benefits that the argument can be made that existing rule should be abolished." But that assumes the existing rule has not even residual utility and I do not accept that proposition.

Thus, *Williams v Roffey* and subsequent cases such as *Anangel Atlas Compania Naviera SA v Ishikawajima-Harima Heavy Industries Co Ltd (No 2)* [1990] 2 Lloyd's LR 526 per Hirst J, have been at pains to treat *Stilk's* case as still good law, though only "where there is a wholly gratuitous promise" (at 545).

But it should be apparent that *Stilk's* case involved no less a practical benefit than was upheld as sufficient for consideration in *Williams v Roffey*.

What then is a sufficient practical benefit to B, so as to take the situation beyond a wholly gratuitous promise by B? The answer lies in the proposition put by Treitel (at 90) quoted above. It is indeed inherent in the situation posed by *Williams v Roffey* itself (and indeed in *Stilk's* case itself, despite the decision). There the subcontractor A's performance was worth more to B (the principal contractor) than likely damages, even taking into account the cost of any concession to obtain greater assurance of that performance. This suggests there should be an addition to element (iv) of Glidewell LJ's formulation by adding this proviso at the end:

> provided that A's performance having regard to what has been so obtained is capable of being viewed by B as worth more to B than any remedy against A (allowing for any defences or cross-claims) taking into account the cost to B of any such payment or concession to obtain greater assurance of A's performance.

Nor should the alternative and indeed original basis of consideration be ignored, namely detriment to A, the promisee for this purpose. It is of course long settled that detriment to the promisee suffices as consideration — indeed it better reflects the origins of contract in the action of assumpsit. Thus element (iv), as I have expanded it, should be divided into parts, the second as follows:

> (iv)(a) …, or (b). As a result of giving his promise, A suffers in practice a detriment (or obviates a benefit), provided that A is thereby foregoing the opportunity of not performing the original contract in circumstances where such non performance, taking into account B's likely remedy against A (and allowing for any defences or cross-claims) is being capable of being viewed by A as worth more to A than performing that contract, in the absence of B's promised payment or concession to A.

Musumeci v Winadell cont.

To all this it might be said that such a relaxation of the doctrine of consideration, [746] if adopted, will discourage concessions, since they would then too readily become legally binding throughout the term of the contract. But the answer to that is simple enough. The courts should be alert to distinguish promises intended by their terms to be no more than temporary, or truly ex gratia, concessions, for example if expressly limited to a period of difficult circumstances for performance by the other party, which may not be permanent. And "care must also be taken not to infer anterior promises from conduct which represents no more than an adjustment of their relationship in the light of changing circumstances": per McHugh JA in *Integrated Computer Services Pty Ltd v Digital Equipment Corp (Aust) Pty Ltd* (1988) 5 BPR 11,110 at 11,117.

Accordingly, I'm satisfied to conclude that, subject to the earlier re-casting of the five elements of Glidewell LJ, *Williams v Roffey* should be [747] followed in allowing a practical benefit or detriment to suffice as consideration. For convenience, I set out below the re-cast elements, changes indicated by italics. I recognise that they will be further refined in light of experience. One particular issue is the extent to which a benefit or detriment, said to be "practical", as distinct from explicitly bargained for, must nonetheless be consistent with, and not extraneous to, the bargaining process, as at least its intended result if not necessarily its moving force:

The present state of the law on this subject can be expressed in the following proposition:

(i) If A has entered into a contract with B to do work for, or to supply goods or services to, B in return for the payment by B, and

(ii) At some stage before A has completely performed his obligations under the contract B has reason to doubt whether A will, or be able to, complete his side of the bargain, and

(iii) B thereupon promises A an additional payment *or other concession (such as reducing A's original obligation)* in return for A's promise to perform this contractual obligation at the time, and

(iv) (a) As a result of giving his promise B obtains in practice a benefit, or obviates a disbenefit provided that *A's performance, having regard to what has been so obtained, is capable of being viewed by B as worth more to B than any likely remedy against A (allowing for any defences or cross-claims), taking into account the cost to B of any such payment or concession to obtain greater assurance of A's performance*, or

(b) *as a result of giving his promise, A suffers a detriment (or obviates a benefit) provided that A is thereby foregoing the opportunity of not performing the original contract, in circumstances where such non-performance, taking into account B's likely remedy against A (and allowing for any defences or cross-claims) is capable of being viewed by A as worth more to A than performing that contract, in the absence of B's promised payment or concession to A*.

(v) B's promise is not given as a result of economic duress or fraud *or undue influence or unconscionable conduct on the part of A nor is it induced as a result of unfair pressure on the part of A, having regard to the circumstances*, then,

(vi) The benefit to B *or the detriment to A* is capable of being consideration for B's promise, so that the promise will be legally binding.

Application of Williams v Roffey to present circumstances

[4.130] … [748] Thus I find that the particular practical benefit here, was that the lessor had greater assurance of the lessees staying in occupation and maintaining viability and capacity to perform by reason of their reduction in their rent, notwithstanding the introduction of a major, much larger competing tenant. [749]

Musumeci v Winadell cont.

The practical detriment to the lessees lay in risking their capacity to survive against a much stronger competitor, by staying in occupancy under their lease, rather than walking away at the cost of damages, if the lessees' defences, including under the *Contracts Review Act 1980*, were unsuccessful ….

As to element (iv) which, in its proviso, is designed to eliminate "wholly" gratuitous promises, there is evidence before me that the plaintiffs' goodwill was at risk of destruction by the introduction of the much stronger competitor on a concessional basis, unless the rent reduction were forthcoming. That makes it a proper inference for me to draw that there was indeed a sufficient practical benefit, procured by maintaining the plaintiffs as viable tenants on the promise of reduced rental. This is compared to the evidently less attractive alternative of finding another tenant and suing for any rent shortfall, particularly where the lessees might plead a number of foreshadowed defences and cross-claims.

Re Selectmove

[4.135] *Re Selectmove Ltd* [1995] 1 WLR 474 (Court of Appeal).

GIBSON LJ: [481] [I]f the principle of *Williams v Roffey Bros & Nicholls (Contractors) Ltd* [1991] 1 QB 1 is to be extended to an obligation to make payment, it would in effect leave the principle in *Foakes v Beer*, 9 App Cas 605 without any application. When a creditor and a debtor who are at arm's length reach agreement on the payment of the debt by instalments to accommodate the debtor, the creditor will no doubt always see a practical benefit to himself in so doing. In the absence of authority there would be much to be said for the enforceability of such a contract. But that was a matter expressly considered in *Foakes v Beer* yet held not to constitute good consideration in law. *Foakes v Beer* was not even referred to in *Williams v Roffey Bros & Nicholls (Contractors) Ltd* [1991] 1 QB 1, and it is in my judgment impossible, consistently with the doctrine of precedent, for this court to extend the principle of *Williams's* case to any circumstances governed by the principle of *Foakes v Beer*, 9 App Cas 605. If that extension is to be made, it must be by the House of Lords or, perhaps even more appropriately, by Parliament after consideration by the Law Commission.

[4.140] Notes

1. In *Collier v P & MJ Wright (Holdings) Ltd* [2007] EWCA Civ 1329, the English Court of Appeal affirmed the position adopted in *Re Selectmove Ltd* [1995] 1 WLR 474 but accepted that its effect may be substantially undermined by the doctrine of promissory estoppel.
2. As the extracts at [4.115]–[4.135] indicate, the problems of contract modification and the acceptance of part payment of a debt in full satisfaction also raise the application of the doctrines of economic duress (see *Pao On v Lau Yiu Long* [1980] AC 614 at [4.150] and *North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd* [1979] QB 705) and promissory estoppel (see Chapter 9, especially *Je Maintiendrai Pty Ltd v Quaglia* (1980) 26 SASR 101 at [9.10]).

Duty owed to a third party

[4.145] A promise to perform an act which the promisor is under an existing duty to a third party to perform may constitute good consideration. For example, consideration may be found in A's promise to B to perform a duty which A is already contractually obliged to perform for C.

Pao On v Lau Yiu Long

[4.150] *Pao On v Lau Yiu Long* [1980] AC 614 (Privy Council) – Appeal from the Court of Appeal of Hong Kong.

[FACTS: On 27 February 1973, the *plaintiffs* agreed (the main agreement) to sell to Fu Chip Investment Co Ltd (Fu Chip) the whole of the issued capital in Tsuen Wan Shing On Estate Co Ltd (Shing On). The price payable was $HK10.5 million which was to be met by an allotment of 4.2 million ordinary shares of $HK1 each in Fu Chip of which the *defendants* were majority shareholders. For the purposes of the agreement, one Fu Chip share was deemed to be worth $HK2.50.

So that the market in Fu Chip shares might not be unduly depressed by a sale by the plaintiffs of their allotment, under cl 4(k) of the main agreement, the plaintiffs agreed not to sell 60 per cent of their allotment of shares in Fu Chip before the end of April 1974.

In view of this restriction, the plaintiffs required some protection should the price of Fu Chip shares fall during the period in which they were unable to sell. Accordingly, a second agreement (the subsidiary agreement) was entered into by which the plaintiffs agreed to sell to the defendants on or before 30 April 1974 at a price of $HK2.50 per share, 2.5 million shares in Fu Chip, this being 60 per cent of the plaintiffs' total allotment.

Although this arrangement protected the plaintiffs from loss, it also effectively prevented them from realising any profit on 60 per cent of their holding in Fu Chip should the price rise above $HK2.50 as, indeed, was generally expected. On realising what they had done, the plaintiffs refused to proceed with the main agreement unless the subsidiary agreement was cancelled and replaced by a guarantee by way of indemnity.

The defendants considered bringing action against the plaintiffs for specific performance of the main agreement, but in view of the fact that the takeover of Shing On had already been announced, and certain other business considerations, they agreed to cancel the subsidiary agreement and give the requested guarantee.

The guarantee did not require the plaintiffs to sell their shares to the defendants at $HK2.50 per share but guaranteed that each share in the 60 per cent portion of their holding would be worth $HK2.50 immediately after 30 April 1974 and further indemnified them against any loss which they might sustain should the market price fall below that figure. The guarantee further provided that if the defendants were in fact called upon to indemnify the plaintiffs, the defendants would have the option of buying the 60 per cent portion for $HK6.3 million, that is $HK2.50 per share. Under this arrangement, the plaintiffs were guaranteed a minimum of $HK2.50 per share but might receive more if the market value of Fu Chip shares rose above that figure after 30 April 1974.

By 30 April 1974, Fu Chip shares had fallen to 36 cents and the plaintiffs sought to rely on the indemnity. The defendants refused to indemnify them. The plaintiffs successfully brought an action on the indemnity, but this decision was reversed on appeal. The plaintiffs appealed to the Privy Council.]

The judgment of their Lordships was delivered by LORD SCARMAN:

The first question

[628] The first question is whether upon its true construction the written guarantee of 4 May 1973, states a consideration sufficient in law to support the defendants' promise of indemnity against a fall in value of the Fu Chip shares. The instrument is, so far as relevant, in these terms: Re: Tsuen Wan Shing On Estate Co Ltd.

Pao On v Lau Yiu Long cont.

> In consideration of your having at our request agreed to sell all of your shares of and in the abovementioned company … for the consideration of $10.5 million by the allotment of 4.2 million ordinary shares of $1 each in Fu Chip Investment Co Ltd … and that the market value for the said ordinary shares of the said Fu Chip Investment Co Ltd shall be deemed as $2.50 for each of $1 share under an agreement for sale and purchase made between the parties thereto and dated 27 February 1973, we Lau Yiu Long … and Benjamin Lau Kam Ching … [629] the directors of the said Fu Chip Investment Co Ltd hereby agree and guarantee the closing market value for 2 520 000 shares (being 60 per cent of the said 4.2 million ordinary shares) of the Fu Chip Investment Co Ltd shall be at $2.50 per share and that the total value of 2 520 000 shares shall be of the sum of $6.3 million on the following marketing date immediately after 30 April 1974, and we further agree to indemnify and keep you indemnified against any damages, losses and other expenses which you may incur or sustain in the event of the closing market price for the shares of Fu Chip Investment Co Ltd according to the Far East Exchange Ltd, shall fall short of the sum of $2.50 during the said following marketing date immediately after 30 April 1974, provided always that if we were called upon to indemnify you for the discrepancy between the market value and the said total value of $6.3 million we shall have the option of buying from you the said 2 520 000 shares of Fu Chip Investment Co Ltd at the price of $6.3 million.

Mr Neill, counsel for the plaintiffs … contends that the consideration stated in the agreement is not in reality a past one. It is to be noted that the consideration was not on 4 May 1973, a matter of history only. The instrument by its reference to the main agreement with Fu Chip incorporates as part of the stated consideration the plaintiffs' three promises to Fu Chip: to complete the sale of Shing On, to accept shares as the price for the sale, and not to sell 60 per cent of the shares so accepted before 30 April 1974. Thus, on 4 May 1973, the performance of the main agreement still lay in the future. Performance of these promises was of great importance to the defendants, and it is undeniable that, as the instrument declares, the promises were made to Fu Chip at the request of the defendants. It is equally clear that the instrument also includes a promise by the plaintiffs to the defendants to fulfil their earlier promises given to Fu Chip.

The Board agrees with Mr Neill's submission that the consideration expressly stated in the written guarantee is sufficient in law to support the defendants' promise of indemnity. An act done before the giving of a promise to make a payment or to confer some other benefit can sometimes be consideration for the promise. The act must have been done at the promisors' request: the parties must have understood that the act was to be remunerated either by a payment or the conferment of some other benefit: and payment, or the conferment of a benefit, must have been legally enforceable had it been promised in advance. All three features are present in this case. The promise given to Fu Chip under the main agreement not to sell the shares for a year was at the first defendant's request. The parties understood at the time of the main agreement that the restriction on selling must be compensated for by the benefit of a guarantee against a drop in price: and such a guarantee would be legally enforceable. The agreed cancellation of the subsidiary [630] agreement left, as the parties knew, the plaintiffs unprotected in a respect in which at the time of the main agreement all were agreed they should be protected.

Mr Neill's submission is based on *Lampleigh v Brathwait* (1615) Hobart 105; 80 ER 255. In that case the judges said (at 106):

> First … a meer voluntary courtesie will not have a consideration to uphold an assumpsit. But if that courtesie were moved by a suit or request of the party that gives the assumpsit, it will bind, for the promise, though it follows, yet it is not naked, but couples it self with the suit before, and the merits of the party procured by that suit, which is the difference.

The modern statement of the law is in the judgment of Bowen LJ in *Re Casey's Patents* [1892] 1 Ch 104 at 115–16; Bowen LJ said:

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> Even if it were true, as some scientific students of law believe, that a past service cannot support a future promise, you must look at the document and see if the promise cannot receive a proper effect in some other way. Now, the fact of a past service raises an implication that at the time it was rendered it was to be paid for, and, if it was a service which was to be paid for, when you get in the subsequent document a promise to pay, that promise may be treated either as an admission which evidences or as a positive bargain which fixes the amount of that reasonable remuneration on the faith of which the service was originally rendered. So that here for past services there is ample justification for the promise to give the third share.

Conferring a benefit is, of course, an equivalent to payment.

Mr Leggatt, for the defendants, does not dispute the existence of the rule but challenges its application to the facts of this case. He submits that it is not a necessary inference or implication from the terms of the written guarantee that any benefit or protection was to be given to the plaintiffs for their acceptance of the restriction on selling their shares. Their Lordships agree that the mere existence or recital of a prior request is not sufficient in itself to convert what is prima facie past consideration into sufficient consideration in law to support a promise: as they have indicated, it is only the first of three necessary preconditions. As for the second of those preconditions, whether the act done at the request of the promisor raises an implication of promised remuneration or other return is simply one of the construction of the words of the contract in the circumstances of its making. Once it is recognised, as the Board considers it inevitably must be, that the expressed consideration includes a reference to the plaintiffs' promise not to sell the shares before 30 April 1974 — a promise to be performed in the future, though given in the past — it is not possible to treat the defendants' promise of indemnity as independent of the plaintiffs' antecedent prom-[631]ise, given at the first defendant's request, not to sell. The promise of indemnity was given because at the time of the main agreement the parties intended that the first defendant should confer upon the plaintiffs the benefit of his protection against a fall in price. When the subsidiary agreement was cancelled, all were well aware that the plaintiffs were still to have the benefit of his protection as consideration for the restriction on selling. It matters not whether the indemnity thus given be regarded as the best evidence of the benefit intended to be conferred in return for the promise not to sell, or as the positive bargain which fixes the benefit on the faith of which the promise was given — though where, as here, the subject is a written contract, the better analysis is probably that of the "positive bargain". Their Lordships, therefore, accept the submission that the contract itself states a valid consideration for the promise of indemnity.

This being their Lordships' conclusion, it is necessary [sic – it seems that this should be *unnecessary*] to consider Mr Neill's further submission … that the option given the defendants, if called upon to fulfil their indemnity, to buy back the shares at $2.50 a share was itself a sufficient consideration for the promise of indemnity. But their Lordships see great force in the contention. The defendants promised to indemnify the plaintiffs if the market price of Fu Chip shares fell below $2.50. However, in the event of the defendants being called on to implement this promise they were given an option to take up the shares themselves at $2.50. This on the face of it imposes on the plaintiffs in the circumstances envisaged an obligation to transfer the shares to the defendants at the price of $2.50 if called on to do so. The concomitant benefit to the defendants could be a real one — for example, if they thought that the market, after a temporary setback, would recover to a price above $2.50. The fact that the option is stated in the form of a proviso does not preclude it being a contractual term or one under which consideration moves.

The second question

[4.155] There is no doubt — and it was not challenged — that extrinsic evidence is admissible to prove the real consideration where:

(1) no consideration, or a nominal consideration, is expressed in the instrument; or

(2) the expressed consideration is in general terms or ambiguously stated; or

(3) substantial consideration is stated, but an additional consideration exists.

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The additional consideration must not, however, be inconsistent with the terms of the written instrument. Extrinsic evidence is also admissible to prove the illegality of the consideration. In their Lordships' opinion the law is correctly stated in *Halsbury's Laws of England* (4th ed, 1975), vol 12, para 1487. The extrinsic evidence in this case shows that the consideration for the promise of indemnity, while it included the cancellation of the subsidiary agreement, was primarily the promise given by the plaintiffs to the defendants, to perform their contract with Fu Chip, which included the undertaking not to sell 60 per cent of the shares allotted to them before 30 April 1974. Thus the real consideration for [632] the indemnity was the promise to perform, or the performance of, the plaintiffs pre-existing contractual obligations to Fu Chip. This promise was perfectly consistent with the consideration stated in the guarantee. Indeed, it reinforces it by imposing upon the plaintiffs an obligation now owed to the defendants to do what, at the first defendant's request, they had agreed with Fu Chip to do.

Their Lordships do not doubt that a promise to perform, or the performance of, a pre-existing contractual obligation to a third party can be valid consideration. In *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd (The Eurymedon)* [1975] AC 154 at 168, the rule and the reason for the rule were stated:

> An agreement to do an act which the promisor is under an existing obligation to a third party to do, may quite well amount to valid consideration … the promisee obtains the benefit of a direct obligation …. This proposition is illustrated and supported by *Scotson v Pegg* (1861) 6 H & N 295; 158 ER 121, which their Lordships consider to be good law.

Unless, therefore the guarantee was void as having been made for an illegal consideration or voidable on the ground of economic duress, the extrinsic evidence establishes that it was supported by valid consideration. Mr Leggatt for the defendants submits that the consideration is illegal as being against public policy. He submits that to secure a party's promise by a threat of repudiation of a pre-existing contractual obligation owed to another can be, and in the circumstances of this case was, an abuse of a dominant bargaining position and so contrary to public policy. This, he submits, is so even though economic duress cannot be proved. This submission found favour with the majority in the Court of Appeal. Their Lordships, however, consider it misconceived. Reliance was placed on the old "seaman" cases of *Harris v Watson* (1791) Peake 102; 170 ER 94, NP, and *Stilk v Meyrick* (1809) 6 Esp 129; 170 ER 851; 2 Camp 317; 170 ER 1168. Counsel also referred to certain developments in American law, which are to be found described in two leading works, *Corbin on Contracts* (1950) and *Williston on Contracts* (3rd ed, 1975) … Their Lordships would make one general observation on what is revealed by these two distinguished American works. Where some judges speak of public policy, others speak of economic duress. No clear line of distinction between the two concepts emerges as settled in the American law.

In the seaman cases there were only two parties — the seaman and the captain (representing the owner). In *Harris v Watson* the captain during the voyage, for which the plaintiff had contracted to serve as a seaman, promised him 5 guineas over and above his common wages if he would perform some extra work. Lord Kenyon thought (at 103) that if the seaman's claim to be paid 5 guineas was supported "it would materially affect the navigation of this kingdom". He feared the prospect of seamen in times of danger insisting "on an extra charge on such a promise", and non-suited the plaintiff. In *Stilk v* [633] *Meyrick*, Lord Ellenborough CJ also non-suited the seaman. According to the report in 2 Camp 317, 319, he said:

> I think *Harris v Watson* was rightly decided; but I doubt whether the ground of public policy, upon which Lord Kenyon is stated to have proceeded, be the true principle on which the decision is to be supported. Here, I say the agreement is void for want of consideration.

Espinasse, who appeared as junior counsel for the unsuccessful plaintiff in the case, reports the case somewhat differently. He reports (6 Esp 129 at 130) Lord Ellenborough CJ as saying that: "he recognised the principle of the case of *Harris v Watson* as founded on just and proper policy".

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But the report continues: "When the defendant [sic – but surely the plaintiff is meant?] entered on board the ship, he stipulated to do all the work his situation called upon him to do."

These cases, explicable as they are upon the basis of an absence of fresh consideration for the captain's promise, are an unsure foundation for a rule of public policy invalidating contracts where, save for the rule, there would be valid consideration.

When one turns to consider cases where a pre-existing duty imposed by law is alleged to be valid consideration for a promise, one finds cases in which public policy has been held to invalidate the consideration. A promise to pay a sheriff in consideration of his performing his legal duty, a promise to pay for discharge from illegal arrest, are to be found in the books as promises which the law will not enforce. Yet such cases are also explicable upon the ground that a person who promises to perform, or performs, a duty imposed by law provides no consideration. In cases where the discharge of a duty imposed by law has been treated as valid consideration, the courts have usually (but not invariably) found an act over and above, but consistent with, the duty imposed by law: see *Williams v Williams* [1957] 1 WLR 148. It must be conceded that different judges have adopted differing approaches to such cases: contrast, for example, Denning LJ at 149 et seq with the view of the majority in *Williams' case*. But, where the pre-existing obligation is a contractual duty owed to a third party, some other ground of public policy must be relied on to invalidate the consideration (if otherwise legal); the defendants submit that the ground can be extortion by the abuse of a dominant bargaining position to threaten the repudiation of a contractual obligation. It is this application of public policy which Mr Leggatt submits has been developed in the American cases. Beginning with the general rule that "neither the performance of duty nor the promise to render a performance already required by duty is a sufficient consideration" the courts have (according to *Corbin on Contracts*, vol 1, s 171) advanced to the view: "that the moral and economic elements in any case that involves the rule should be weighed by the court, and that the fact of pre-existing legal duty should not be in itself decisive".

[634] The American Law Institute in its *Restatement of the Law, Contracts* (ch 3, s 84(d)), has declared that performance (or promise of performance) of a contractual duty owed to a third person is sufficient consideration. This view (which accords with the statement of our law in *New Zealand Shipping Co Ltd v A M Satterthwaite & Co Ltd*) appears to be generally accepted but only in cases where there is no suggestion of unfair economic pressure exerted to induce the making of what *Corbin on Contracts* calls "the return promise".

Their Lordships' knowledge of this developing branch of American law is necessarily limited. In their judgment it would be carrying audacity to the point of foolhardiness for them to attempt to extract from the American case law a principle to provide an answer to the question now under consideration. That question, their Lordships repeat is whether, in a case where duress is not established, public policy may nevertheless invalidate the consideration if there has been a threat to repudiate a pre-existing contractual obligation or an unfair use of a dominating bargaining position. Their Lordships' conclusion is that where businessmen are negotiating at arm's length it is unnecessary for the achievement of justice, and unhelpful in the development of the law, to invoke such a rule of public policy. It would also create unacceptable anomaly. It is unnecessary because justice requires that men, who have negotiated at arm's length, be held to their bargains unless it can be shown that their consent was vitiated by fraud, mistake or duress. If a promise is induced by coercion of a man's will, the doctrine of duress suffices to do justice. The party coerced, if he chooses and acts in time, can avoid the contract. If there is no coercion, there can be no reason for avoiding the contract where there is shown to be a real consideration which is otherwise legal.

Such a rule of public policy as is now being considered would be unhelpful because it would render the law uncertain. It would become a question of fact and degree to determine in each case whether there had been, short of duress, an unfair use of a strong bargaining position. It would create anomaly because, if public policy invalidates the consideration, the effect is to make the contract void. But unless the facts are such as to support a plea of "non est factum", which is not suggested in this case, duress does no more than confer upon the victim the opportunity, if taken in time, to avoid

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the contract. It would be strange if conduct less than duress could render a contract void, whereas duress does no more than render a contract voidable. Indeed, it is the defendants' case in this appeal that such an anomaly is the correct result. Their case is that the plaintiffs, having lost by cancellation the safeguard of the subsidiary agreement, are without the safeguard of the guarantee because its consideration is contrary to public policy, and that they are debarred from restoration to their position under the subsidiary agreement because the guarantee is void, not voidable. The logical consequence of Mr Leggatt's submission is that the safeguard which all were at all times agreed the plaintiffs should have — the safeguard against fall in value of the shares — has been lost by the application of [635] a rule of public policy. The law is not, in their Lordships' judgment, reduced to countenancing such stark injustice: nor is it necessary, when one bears in mind the protection offered otherwise by the law to one who contracts in ignorance of what he is doing or under duress. Accordingly, the submission that the additional consideration established by the extrinsic evidence is invalid on the ground of public policy is rejected.

The third question

[4.160] [635] Duress, whatever form it takes, is a coercion of the will so as to vitiate consent. Their Lordships agree with the observation of Kerr J in *Occidental Worldwide Investment Corp v Skibs A/S Avanti* [1976] 1 Lloyd's Rep 293 at 336 that in a contractual situation commercial pressure is not enough. There must be present some factor "which could in law be regarded as a coercion of his will so as to vitiate his consent". This conception is in line with what was said in this Board's decision in *Barton v Armstrong* [1976] AC 104 at 121 by Lord Wilberforce and Lord Simon of Glaisdale — observations with which the majority judgment appears to be in agreement. In determining whether there was a coercion of will such that there was no true consent, it is material to inquire whether the person alleged to have been coerced did or did not protest; whether, at the time he was allegedly coerced into making the contract, he did or did not have an alternative course open to him such as an adequate legal remedy; whether he was independently advised; and whether after entering the contract he took steps to avoid it. All these matters are, as was recognised in *Maskell v Horner* [1915] 3 KB 106, relevant in determining whether he acted voluntarily or not.

In the present case there is unanimity amongst the judges below that there was no coercion of the first defendant's will. In the Court of Appeal the trial judge's finding (already quoted) that the first defendant considered the matter thoroughly, chose to avoid litigation, and formed the opinion that the risk in giving the guarantee was more apparent than real was upheld. In short, there was commercial pressure, but no coercion. Even if this Board was disposed, which it is not, to take a different view, it would not substitute its opinion for that of the judges below on this question of fact.

It is, therefore, unnecessary for the Board to embark upon an inquiry into the question whether English law recognises a category of duress known as "economic duress". But, since the question has been fully argued in this appeal, their Lordships will indicate very briefly the view which they have formed. At common law money paid under economic compulsion could be recovered in an action for money had and received: *Astley v Reynolds* (1731) 2 Str 915; 93 ER 939. The compulsion had to be such that the party was deprived of "his freedom of exercising his will": see at 916. It is doubtful, however, whether at common law any duress other than duress to the person sufficed to render a contract voidable: see *Blackstone's Commentaries* (12th ed), Book 1, pp 130–1 and *Skeate v Beale* (1841) 11 Ad & E 983; 113 ER 688. American law (*Williston on Contracts* (3rd ed)) now recognises that a contract may be avoided on the [636] ground of economic duress. The commercial pressure alleged to constitute such duress must, however, be such that the victim must have entered the contract against his will, must have had no alternative course open to him, and must have been confronted with coercive acts by the party exerting the pressure: *Williston on Contracts* (3rd ed, 1970), vol 13 s 1603. American judges pay great attention to such evidential matters as the effectiveness of the alternative remedy available, the fact or absence of protest, the availability of independent advice, the benefit received, and the speed with which the victim has sought to avoid the contract. Recently two English judges have recognised that commercial pressure may constitute duress the pressure of which can render a contract voidable: Kerr J in *Occidental Worldwide Investment Corp v Skibs A/S Avanti*

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[1976] 1 Lloyd's Rep 293 and Mocatta J in *North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd* [1979] QB 705. Both stressed that the pressure must be such that the victim's consent to the contract was not a voluntary act on his part. In their Lordships' view, there is nothing contrary to principle in recognising economic duress as a factor which may render a contract voidable, provided always that the basis of such recognition is that it must amount to a coercion of will, which vitiates consent. It must be shown that the payment made or the contract entered into was not a voluntary act.

For these reasons their Lordships will humbly advise Her Majesty that the appeal be allowed …

Appeal allowed.

[4.165] **Note**

See further *North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd* [1979] QB 705.

Bona fide compromise

Wigan v Edwards

[4.170] *Wigan v Edwards* (1973) 47 ALJR 586 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: Mr and Mrs Edwards (the *respondents*) agreed to purchase a house from Wigan (the builder, *appellant, promisor*) under the terms of a contract dated 15 April 1969. The contract contained no express term that the house had been constructed in a good and businesslike manner nor that it was free from structural defects, nor any other term relating to quality. Nonetheless, shortly after the contract was signed, the Edwards had discussions with Wigan in relation to certain features of the house and gave him a list of matters which they said required attention before they would complete the transaction. Wigan agreed to remedy certain defects, and on 22 April 1969, he signed a document in which he promised to remedy the minor defects listed therein and "any major faults in construction five years from purchase date I will repair". Subsequently the appellant failed to remedy the minor defects and also a major fault which was discovered in the concrete slab. The Edwards sued Wigan in the District Court of Queensland and obtained judgment for $6,000. An appeal to the Full Court of the Supreme Court of Queensland was dismissed. One of the points argued on behalf of Wigan on appeal to the High Court of Australia was that there was no consideration for the promises contained in the document dated 22 April.]

MASON J: [594] The first question which arises is whether there was valuable consideration for the appellant's promise of 22 April 1969. The general rule is that a promise to perform an existing duty is no consideration, at least when the promise is made by a party to a pre-existing contract, when it is made to the promisee under that contract, and it is to do no more than the promisor is bound to do under the contract. The rule expresses the concept that the new promise, indistinguishable from the old, is an illusory consideration. And it gives no comfort to a party who by merely threatening a breach of contract seeks to secure an additional contractual benefit from the other party on the footing that the first party's new promise of performance will provide sufficient consideration for that benefit.

An important qualification to the general principle is that a promise to do precisely what the promisor [595] is already bound to do is a sufficient consideration, when it is given by way of a bona

Wigan v Edwards cont.

fide compromise of a disputed claim, the promisor having asserted that he is not bound to perform the obligation under the pre-existing contract or that he has a cause of action under that contract. The qualification recognises that for the court itself to examine and determine the correctness of the promisor's claim would be a pointless exercise when the new bargain indicates that the promisee regarded the fresh promise as a benefit, presumably viewing the promise of performance as more advantageous than the remedies available to him for breach of contract. But the law, by insisting that the claim in dispute is one which was honestly or bona fide made, prevents the qualification from assisting the party who would seek to gain an unfair advantage by threatening unscrupulously to withhold performance under a contract.

It is no objection to the existence of a bona fide compromise of a dispute that the court considers that the claim made by the promisor that he was not bound under the former contract would not have succeeded had the issue been litigated: *Callisher v Bischoffsheim* (1870) LR 5 QB 449; *Miles v New Zealand Alford Estate Co* (1886) 32 Ch D 266. But it is perhaps open to question whether a bona fide compromise of a dispute is sufficiently established by showing that the promisor honestly believed that his claim was well founded. It has been said that it must also be shown that the claim was not vexatious or frivolous. In *Miles v New Zealand Alford Estate Co* Bowen LJ (at 291–2) expressed himself in favour of the second formulation, whereas in the same case Cotton LJ (at 283–4) and Fry LJ (at 297–8) expressed themselves more obliquely. However, as I understand their observations, they are not inconsistent with what Bowen LJ had to say. In many courts in the United States a similar test to that adopted by Bowen LJ has been adopted. *Williston on Contracts* (3rd ed), s 135B states: "In many jurisdictions the tendency is to make the test the honesty of the claimant, provided the invalidity of the claim in law or in fact is not entirely obvious." Even so, according to the author, the forbearance is insufficient consideration "if the claim forborne is so lacking in any foundation as to make its assertion incompatible with both honesty and a reasonable degree of intelligence".

The different expressions of the principle do not reflect an important conceptual difference. There will be few cases involving an honest or bona fide belief in a claim which is vexatious or frivolous. In this case it is unnecessary to choose between the competing formulations, for in my view the more stringent test, that favoured by Bowen LJ in *Miles' case* is satisfied.

The judge found that the respondents honestly believed that, having regard to the defective condition of the house, they were not bound to complete. In my opinion his Honour was correct in so finding. Although it is my view that the majority of the defects on which the respondents relied would not have justified a refusal to complete the contract, there were many defects. In addition, the water had not been connected and the fence had not been erected. In these circumstances the respondents' claim that they would not complete cannot be described as a frivolous or vexatious claim.

The respondents merely asserted that they would not complete until the matters of which they complained were set right. They did not threaten to bring an action or to defend a suit for specific performance. However, a threat to bring an action or enter a defence is not an essential element of a bona fide compromise; it is enough if there is a claim (of the kind already discussed) that the contracting party is not bound to perform the contract. Clearly the respondents' claim was of this kind. Accordingly, in my view there was valuable consideration to support the agreement of 22 April 1969.

In expressing this conclusion I am mindful that the appellant's promise to repair major defects in five years incorporated in the document of 22 April 1969 was volunteered by him and was given after he had acceded to the respondents' demand that the list of defects should be remedied. Though volunteered by the appellant after he had acceded to the initial request, the additional promise should be regarded as an element of the bargain reached by the parties …

[On this point, WALSH AND GIBBS JJ agreed with the reasoning of Mason J. MENZIES J and McTIERNAN ACJ reached the same conclusion.]

Proposals for reform

Sixth Interim Report

[4.175] United Kingdom Law Revision Committee, *Sixth Interim Report* (CMD 5449, 1937).

[50] It may be convenient to summarise our recommendations which are as follows:

(1) …

(2) That an agreement shall be enforceable if the promise or offer has been made in writing by the promisor or his agent, or if it be supported by valuable consideration past or present.

(3) That an agreement to accept a lesser sum in discharge of an enforceable obligation to pay a larger sum shall be deemed to have been made for valuable consideration, but if the new agreement is not performed then the original obligation shall revive.

(4) That an agreement in which one party makes a promise in consideration of the other party doing or promising to do something which he is already bound to do by law, or by a contract made either with the other party or with a third party, shall be deemed to have been made for valuable consideration.

(5) That a promise shall be enforceable by the promisee though the consideration is given by or to a third party.

(6) That an agreement to keep an offer open for a definite period of time or until the occurrence of some specified event shall not be unenforceable by reason of the absence of consideration.

(7) That a promise made in consideration of the promisee performing an act shall constitute a contract as soon as the promisee has entered upon performance of the act, unless the promise includes expressly or by implication a term that it can be revoked before the act has been completed.

(8) That a promise which the promisor knows, or reasonably should know, will be relied on by the promisee shall be enforceable if the promisee has altered his position to his detriment in reliance on the promise.

(9) That where a contract by its express terms purports to confer a benefit directly on a third party, it shall be enforceable by the third party in his own name subject to any defences that would have been valid between the contracting parties. Unless the contract otherwise provides, it may be cancelled by the mutual consent of the contracting parties at any time before the third party has adopted it either expressly or by conduct.

CHAPTER **5**

Intention

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[5.05] The third element of contract formation is that the parties must manifest an intention to create legal relations. There are several situations in which parties may reach a clear and certain agreement that satisfies the consideration requirement, but may not be intended to create legal relations:

1. Where an agreement is made in a commercial context, a question may arise whether the parties intend to make an honourable, rather than legal commitment.
2. The issue may arise in a social or domestic context. An agreement to help a friend to move some furniture in return for dinner involves an exchange of promises, but is clearly not intended to be legally binding. An agreement relating to more substantial matters, such as employment or the sale of valuable property, may be intended to attract legal consequences even when it is made with a close relative.
3. An issue of intention to contract may arise where an agreement is made between a government and an individual. The implementation of government policy may, for example, lead a government to reach an agreement with a particular individual to provide some assistance. The fact that the individual is providing something in return for that assistance does not necessarily mean that the parties intend to make a contract.
4. Where parties reach a preliminary agreement, the question may arise whether the parties intend to be bound immediately, or not until some time in the future when the parties have finalised some outstanding issues or recorded their agreement in a more formal manner.

The intention to create legal relations requirement has often been approached on the basis that certain types of agreements are presumed to be intended to be binding, while others are presumed not to be made with such an intention. It is said that parties to commercial agreements are presumed to intend legal consequences, while parties to social or domestic agreements are presumed not to intend legal consequences. Such presumptions determine who bears the onus of proof. A person denying the enforceability of a commercial agreement has been said to bear the onus of proving that the parties did not intend legal consequences. A person seeking to enforce a social or domestic agreement is said to bear the onus of proving

that it was intended to be binding. The decision of the High Court in *Ermogenous v Greek Orthodox Community of SA Inc* [2002] HCA 8; (2002) 209 CLR 95 (extracted at [5.10]) suggests that considerable caution should be exercised in using presumptions to determine whether the intention to create legal relations requirement is satisfied. It has even been said that the court in *Ermogenous* "rejected the use of presumptions as a basis for ascertaining whether parties intended to enter into contractual relations": *Evans v Secretary, Department of Families, Housing, Community Services and Indigenous Affairs* [2012] FCAFC 81, [12].

The objective nature of the inquiry as to intention and the circumstances that should be taken into account were clearly articulated in the joint judgment of Gaudron, McHugh, Hayne and Callinan JJ in *Ermogenous v Greek Orthodox Community of SA Inc*. The admissibility and relevance of evidence as to the actual intentions of the parties were considered by the New South Wales Court of Appeal in *Air Great Lakes Pty Ltd v KS Easter (Holdings) Pty Ltd* (1985) 2 NSWLR 309. A good illustration of the application of these principles is *Shahid v Australasian College of Dermatologists* [2008] FCAFC 72; (2008) 168 FCR 46.

PRESUMPTIONS

Ermogenous v Greek Orthodox Community of SA

[5.10] *Ermogenous v Greek Orthodox Community of SA Inc* [2002] HCA 8; (2002) 209 CLR 95 (High Court of Australia) – Appeal from the Supreme Court of South Australia.

[FACTS: The *appellant* served as the Archbishop of the autocephalous Greek Orthodox Church in Australia for more than 23 years. He claimed that he had been employed by the *respondent* to serve in that position. After he resigned from the position, the Archbishop claimed that the respondent owed him certain sums of money in respect of accumulated annual leave and long service leave entitlements. He could only claim those payments if he was an employee of the respondent. The respondent was a community organisation founded to foster Greek culture as well as the Greek Orthodox faith. It organised cultural, sporting and social activity, built churches and recruited and paid consecrated clergy. The respondent recruited the appellant to the position of Archbishop, paid him a salary or stipend during his period of service and treated him as an employee, reserving the right to control the way in which he discharged his duties. An industrial magistrate found that he was an employee of the respondent and was therefore entitled to the payments. The Full Court of the Supreme Court of South Australia (by majority) allowed an appeal on the basis that the parties had not intended to create legal relations. The Archbishop appealed to the High Court.]

GAUDRON, McHUGH, HAYNE and CALLINAN JJ: [103] Both members of the majority in the Full Court of the Supreme Court (Doyle CJ and Bleby J) took, as their stated starting point, the proposition that an intention to enter a contractual relationship about the remuneration and maintenance and support of a minister of religion is not to be presumed ((2000) 77 SASR 523 at 524–5 [4] per Doyle CJ, 575–6 [207] per Bleby J). This proposition was said to find its origin, or at least its support, in several decisions in the United Kingdom … and one Australian decision (*Knowles v Anglican Church Property Trust, Diocese of Bathurst* (1999) 89 IR 47 a decision of the Industrial Relations Commission of New South Wales). Both Doyle CJ (2000) 77 SASR 523 at 529 [19]–[20] and Bleby J (2000) 77 SASR 523 at 577-578 [212] concluded that the Industrial Magistrate had not considered, as a distinct issue, whether the parties had intended to enter a legally binding relationship. Their Honours then proceeded to consider whether there had been such an intention and concluded that there had not …

Intention to create contractual relations

[5.15] [105] "It is of the essence of contract, regarded as a class of obligations, that there is a voluntary assumption of a legally enforceable duty" (*Australian Woollen Mills Pty Ltd v Commonwealth* (1954)

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92 CLR 424 at 457 per Dixon CJ, Williams, Webb, Fullagar and Kitto JJ). To be a legally enforceable duty there must, of course, be identifiable parties to the arrangement, the terms of the arrangement must be certain, and, unless recorded as a deed, there must generally be real consideration for the agreement. Yet "[t]he circumstances may show that [the parties] did not intend, or cannot be regarded as having intended, to subject their agreement to the adjudication of the courts" (*South Australia v Commonwealth* (1962) 108 CLR 130 at 154 per Windeyer J).

Because the inquiry about this last aspect may take account of the subject-matter of the agreement, the status of the parties to it, their relationship to one another, and other surrounding circumstances (*South Australia v Commonwealth* (1962) 108 CLR 130 at 154; *Placer Development Ltd v Commonwealth* (1969) 121 CLR 353 at 367 per Windeyer J), not only is there obvious difficulty in formulating rules intended to prescribe the kinds of cases in which an intention to create contractual relations should, or should not, be found to exist, it would be wrong to do so. Because the search for the "intention to create contractual relations" requires an objective assessment of the state of affairs between the parties (*Masters v Cameron* (1954) 91 CLR 353 at 362 per Dixon CJ, McTiernan and Kitto JJ; *ABC v XIVth Commonwealth Games Ltd* (1988) 18 NSWLR 540 at 548–9 per Gleeson CJ) (as distinct from the identification of any uncommunicated subjective reservation or intention that either may harbour) the circumstances which might properly be taken into account in deciding whether there was the relevant intention are so varied as to preclude the formation of any prescriptive rules. Although the word "intention" is used in this context, it is used in the same sense as it is used in other contractual contexts. It describes what it is that would objectively be conveyed by what was said or done, having regard to [106] the circumstances in which those statements and actions happened (*Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337 at 348-353 per Mason J; *Royal Botanic Gardens and Domain Trust v South Sydney City Council* [2002] HCA 5; (2002) 240 CLR 45). It is not a search for the uncommunicated subjective motives or intentions of the parties.

In this context of intention to create legal relations there is frequent reference to "presumptions". It is said that it may be presumed that there are some "family arrangements" which are not intended to give rise to legal obligations and it was said in this case that it should not be presumed that there was an intention to create legal relations because it was a matter concerning the engagement of a minister of religion. For our part, we doubt the utility of using the language of presumptions in this context. At best, the use of that language does no more than invite attention to identifying the party who bears the onus of proof. In this case, where issue was joined about the existence of a legally binding contract between the parties, there could be no doubt that it was for the appellant to demonstrate that there was such a contract. Reference to presumptions may serve only to distract attention from that more basic and important proposition.

More importantly, the use of the language of presumptions may lead, as it did in this case, to treating one proposition (that an intention to create legal relations is not to be presumed) as equivalent to another, different proposition (that generally, or usually, or it is to be presumed that, an arrangement about remuneration of a minister of religion will not give rise to legally enforceable obligations). References to "the usual non-contractual status of a priest or minister" and factors which "generally militate against" a finding of intention to create legal relations (cf (2000) 77 SASR 523 at 576 [207] per Bleby J) illustrate the point. The latter proposition may then be understood as suggesting, in some way, that proof to the contrary is to be seen as particularly difficult and yet offer no guidance at all about how it may be done. Especially is that so when the chief factor said to justify the proposition that an intention to create legal relations must be proved (the essentially spiritual role of a minister of religion) is then put forward as the principal reason not to find that intention in a particular case, and any other matters suggesting that there may be an intention to create legal relations are treated as dealing only with "collateral" or "peripheral" aspects of the relationship between the parties ((2000) 77 SASR 523 at 576 [207] per Bleby J). In practice, the latter proposition may rapidly ossify into a rule of law, that there cannot be a contract of employment of a minister of religion, distorting the proper application of basic principles of the law of contract.

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It is equally important to notice that the second form of proposition that we have identified may hide the making of some unwarranted [107] assumptions that certain principles and practices of church governance are "usual" or "general", or that a particular kind of relationship between clergy and the church or community in which they work is the norm. No such assumptions can be made.

It is convenient to turn now to examine some of the cases said to support the proposition that an intention to create legal relations about remuneration of a minister of religion is not to be presumed. As Bleby J pointed out (2000) 77 SASR 523 at 563 [173], it was held in most of the cases to which he referred that the minister of religion concerned was not employed under a contract of employment. The cases did not all take the same path to reach that conclusion and, on analysis, it can be seen that there are several different and distinct questions that were seen as determinative.

In the *Curates Case*, Parker J noted [1912] 2 Ch 563 at 568–70 that a curate in the Church of England owed duties to the vicar of the parish and to the bishop of the diocese, but his Lordship concluded that the authority which each had over the curate came not from some contractual relationship, it came from the fact that the curate held an *office* subject to the laws of the Church in which that office was held….

In other cases to which reference was made, both in argument and in the reasons of Bleby J, there was a real question about who would be the employer if there was a contract of employment. In *Parfitt* [1984] QB 368, a minister sued the President of the Methodist Conference because that person was nominated by statute to represent the Methodist Church in all legal proceedings [1984] QB 368 at 371 but the contract which he sought to establish was one to which it was said that the Church (an unincorporated body) was party …

[108] As was pointed out in *Cameron v Hogan* (1934) 51 CLR 358 at 371, there are at least two difficulties that arise if action is brought to enforce a contract said to have been made with an unincorporated body. First, there is difficulty in properly constituting the action by sufficiently identifying all the proper parties to the suit (difficulties that may not always be met by constituting the action as a representative proceeding). Secondly, there is the further difficulty ((1934) 51 CLR 358 at 372) of identifying who it is who is said to be responsible for the breach which is alleged. Are all members of the body to be said to be in breach of the contract; are only some to be [109] said to be in breach? These are not mere formal difficulties. They invite close attention to identifying the contract that is alleged to have been made and, in particular, the identification of its parties.

Similar but not identical problems in identifying who it is who is said to be the employer can be seen to be reflected in the decision in *Diocese of Southwark v Coker* [1998] ICR 140. The "Diocese of Southwark", initially named by Dr Coker as the respondent to his claim for unfair dismissal, was a description of the district under the jurisdiction of the Bishop of Southwark…. It was the Bishop who had legal responsibility for licensing the appointment of assistant curates, and for the termination or revocation of such an appointment. But as Mummery LJ pointed out [1998] ICR 140 at 148, the Bishop could not be regarded as the employer:

> [T]hat relationship [between bishop and curate], cemented by the oath of canonical obedience, is governed by the law of the established church, which is part of the public law of England, and not by a negotiated, contractual arrangement.

Finally, reference must also be made to the statements, found in several cases, that the relationship between a minister of religion and a church is pre-eminently or even entirely spiritual, not contractual (*Rogers v Booth* [1937] 2 All ER 751 at 754 per Sir Wilfrid Greene MR; *Lewery v Salvation Army in Canada* (1993) 104 DLR (4th) 449 at 453).

[110] That the relationship between a minister of religion and the relevant religious body or group in which, and to which, he or she ministers is, at its root, concerned with matters spiritual is self-evidently true. That the minister's conduct as minister will at least be informed, if not wholly governed, by consideration of matters spiritual is likewise self-evident. It by no means follows, however, that it is impossible that the relationship between the minister and the body or group which seeks or

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receives that ministry will be governed by a contract, and the respondent in this appeal did not seek to advance any such absolute proposition. Rather, the respondent advanced the more limited proposition, adopted by Doyle CJ and Bleby J, that an intention to enter contractual relations is not to be presumed where the arrangement concerns the engagement of a minister of religion but must affirmatively be proved ((2000) 77 SASR 523 at 524 [4] per Doyle CJ, 576 [207], 584 [236] per Bleby J). Nevertheless, it is as well to identify some aspects of the more absolute proposition earlier identified – that the relationship between minister and church is pre-eminently or even entirely spiritual because, in the end, the conclusion at which the majority of the Full Court arrived, was that the only arrangement or relationship which the appellant had was with a church not the respondent, and was a spiritual, not a contractual relationship.

First, although the proposition that the relationship between minister and church is pre-eminently or even entirely spiritual is couched in apparently absolute terms, it has been recognised that there *are* aspects of that relationship which may give rise to legally enforceable rights and duties. As was pointed out in *Davies* [1986] 1 WLR 323 at 329 per Lord Templeman; [1986] 1 All ER 705 at 710:

> Until the applicant [in that case] was deprived of his pastorate in accordance with the procedures laid down in the book of rules, he was *entitled to be paid his stipend* out of the income of the sustentation fund and *to occupy his manse*. (emphasis added)

Secondly, the "essentially spiritual" character of the relationship may take on a different character when one of the parties to the arrangement (the putative employer) is not itself a spiritual body but is, as Staughton LJ said in *Coker* [1998] ICR 140 at 150, "a school, or a duke, or an airport authority" or, we would add, an incorporated body having the characteristics of the present respondent. To say that a minister of religion serves God and those to whom he or she ministers (*Diocese of Southwark v Coker* [1998] ICR 140 at 150 per Staughton LJ) may be right, but that is a description of the minister's spiritual duties. It leaves open the possibility that the minister has been engaged to do this under a contract of employment.

Against the background of this examination of some of the cases [111] relied on by the respondent, it is convenient to turn again to the facts of the present case.

The present case

[5.20] The Industrial Magistrate's finding that the appellant was employed by the respondent under a contract of employment proceeded from the premise of his unchallenged finding that the respondent (and other similar Australian bodies in the same tradition) had previously recruited and employed clergy who were, as we noted earlier, generally subject to the directions of the Communities. Those clergy were, and were treated as, employees of the relevant Community. The respondent, and other Communities, had employed clergy because to do so was to provide for a fundamental element in the preservation of the Hellenic and Orthodox culture they had been formed to enhance and preserve …

[112] We do not accept that the Industrial Magistrate failed to consider the question of intention to create legal relations. The Industrial Magistrate described the issue as being "Can a minister of religion be in law an employee?" and he dealt at length with the principal cases upon which the respondent relied both in this Court and in the Full Court of the Supreme Court. It seems that, at trial, the respondent advanced an argument framed in absolute terms. The Industrial Magistrate recorded it as being that "a minister of religion — any religion — can not in law be considered an employee of any other person or legal entity". This proposition was rejected. But, read as a whole, the reasons of the Industrial Magistrate reveal that whether the arrangement which he had found to have been made between the appellant and the respondent was intended by them to be subject to the adjudication of the courts was a question at the centre of his consideration.

No less importantly, the Industrial Magistrate expressly recognised that, in each of the several cases to which the respondent had referred in support of its submissions, there had been (1997) 64 SAIR 622 at 734:

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> a close consideration of the particular facts of the matter, including the charters, statutes and documents of fundamental belief of each creed considered, the documented position of the clergy in respect of each of the churches mentioned, and the special provisions of statute which govern the actual situation in the law of that particular church.

He undertook a similarly close examination of the evidence that had been called at the trial of this matter about those subjects. That is, he examined, with care, all of the objective circumstances which bore on whether the parties intended to make a contract, as distinct from an arrangement binding only in honour.

The Industrial Magistrate did not make the error which the majority in the Full Court of the Supreme Court attributed to him. Even if the Industrial Magistrate did make that error, the inference which the Full Court drew about the absence of an intention to create legal relations was an inference that was not open on the facts that had been found at trial. An inference that there was no intention to create legal relations depended upon making an assumption, contrary to the facts found below, that the "church" was distinct from the "Community", or it depended upon discerning from the decided cases a proposition more general or absolute than those decisions warrant.

In its appeal to the Full Court the respondent had put forward, as a separate ground of appeal, that "[i]f there was any enforceable contract it was not in law a contract of employment". The leave to appeal granted by the Full Court was not restricted and it follows that this ground was before it, but the conclusions reached by the majority on the question of intention to create legal relations made it [113] unnecessary for their Honours to decide it. Accordingly, as things now stand, there remains for further argument in the Full Court, the issue whether the contract found to have been made between the appellant and the respondent was a contract of employment. Given the resolution of the question which appears to have been the chief foundation for the Full Court granting leave to appeal to it, despite there having been two previous unsuccessful appeals in this matter, there may be an issue whether this remaining question should be agitated further or, instead, the leave previously granted by the Full Court should to that extent now be revoked. That is a matter for the Full Court.

The appeal to this Court should be allowed with costs. Paragraphs 3 to 6 inclusive of the order of the Full Court of the Supreme Court should be set aside and the matter remitted to that Court for further hearing and determination conformably with the reasons of this Court.

[5.25] KIRBY J: [119] I am unconvinced that the English cases cited by Bleby J warrant a conclusion that, in Australia, a contract partaking of the usual features of one of employment, necessarily loses that character because it relates to the vocation of a minister of religion. A minister of religion must be housed, must eat, be clothed and otherwise be provided for. The fact that his or her vocation is, at one level, spiritual in purpose and character does not, of itself, remove the possibility that arrangements for necessities may have been intended to be enforced when it is proved that such arrangements have been breached. If one starts with the proposition that a religious vocation is in law an "office" created by the public law and in its essential character is only a "spiritual" one, it is comparatively simple to arrive at a different result than if one accepts the postulates that have developed in Australian law because of the different history of churches and other religious organisations in this country. Courts here, as elsewhere, will be hesitant to enforce purely spiritual and theological rules (as in *Wylde* (1948) 78 CLR 224 and *Scandrett v Dowling* (1992) 27 NSWLR 483). But they will not hesitate to enforce, as arrangements intended to have contractual or other binding force, rules of a proprietorial character concerned with proprietoral rights.

Within this dichotomy, a proved agreement with a body such as the respondent to provide for the necessities of life of a minister of religion, or even of an archbishop, is an arrangement of the second kind. It is not one which, of its character, Australian law will refuse to enforce because the law presumes a lack of intention to enter legal relations or classifies the resulting dispute as non-justiciable. To the extent that English decisions, starting from a different history and legal foundation and taking a different approach, reach a different conclusion, they do not express the common law of Australia …

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[121] There is therefore no presumption that contracts between religious or associated bodies and ministers of religion, of their nature, are not intended to be legally enforceable. At least where the contracts concern proprietary and economic entitlements, of the kind which in this case Archbishop Ermogenous sought to enforce (and certainly where they are not intertwined with questions of religious doctrine that a court would not feel competent to resolve according to legal norms) there is no inhibition either of a legal or discretionary character that would prevent enforcement of such claims when they are otherwise proved to give rise to legal rights and duties …

[123] Even if, contrary to my view, there were something in the spiritual calling of a minister of religion (including an archbishop) that put that person in relation to his or her church beyond the kind of contractual relations that might be enforced in a court of law, any such rule would not apply to arrangements for the provision of necessities made with a secular community organisation such as the respondent. Every day of his life, Archbishop Ermogenous, like everyone else in Australia, made contractual arrangements of an express or implied kind with secular organisations and individuals of great variety. Most of these were insubstantial but some would be substantial. It would be contrary to basic principle to suggest that his spiritual calling somehow placed him outside the rights and duties of the law of obligations.

Appeal allowed.

COMMERCIAL TRANSACTIONS

Banque Brussels Lambert v Australian National Industries

[5.30] *Banque Brussels Lambert SA v Australian National Industries Ltd* (1989) 21 NSWLR 502 (Supreme Court of New South Wales – Action).

[FACTS: The *defendant* (ANI), a public company listed on the stock exchange, provided a letter of comfort to the *plaintiff* (BBL) in relation to a loan facility provided by the plaintiff to Spedley Securities Ltd (Spedley). The defendant held a controlling interest in Spedley's parent company, Spedley Holdings Ltd (Holdings). The defendant provided a strongly worded letter of comfort at the plaintiff's insistence after some negotiation and the exchange of several drafts. In the letter, the defendant consented to the making of the loan, agreed to provide the bank with 90 days notice of any decision to dispose of its interest in Holdings and confirmed that it was the defendant's practice to ensure that Spedley will at all times be in a position to meet its financial obligations. The defendant disposed of its shareholding in Holdings without giving the required notice to the plaintiff. Spedley was unable to repay the debt to the plaintiff and later went into liquidation. The plaintiff sought relief on the basis of breach of contract, equitable estoppel or misleading or deceptive conduct in breach of s 52 of the *Trade Practices Act 1974* (Cth). The defendant denied liability in contract on the basis, inter alia, that the parties did not manifest an intention to create legal relations.]

ROGERS CJ:

The proceedings

[504] In 1982, Spedley Securities Ltd (Spedley) wished to obtain a loan facility of US$5 million from the plaintiff, a Belgian bank. The plaintiff (BBL) wanted, to adopt a neutral term, additional reassurance that any draw down loan would be repaid. Spedley was a fully owned subsidiary of Spedley Holdings Ltd (Holdings). In turn, 45 per cent of the capital of Holdings was held by the defendant (ANI). The reassurance to the plaintiff took the form of a letter from the defendant in the following terms:

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> We confirm that we are aware of the eurocurrency facility of US$5 million which your Bank has granted to Spedley Securities Limited, which is a wholly-owned subsidiary of Spedley Holdings Limited.
>
> We acknowledge that the terms and conditions of the arrangements have been accepted with our knowledge and consent and state that it would not be our intention to reduce our shareholding in Spedley Holdings Limited from the current level of 45% during the currency of this facility. We would, however, provide your Bank with ninety (90) days notice of any subsequent decisions taken by us to dispose of this shareholding, and furthermore we acknowledge that, should any such notice be served on your Bank, you reserve the right to call for the repayment of all outstanding loans within thirty (30) days.
>
> We take this opportunity to confirm that it is our practice to ensure that our affiliate Spedley Securities Limited, will at all times be in a position to meet its financial obligations as they fall due. These financial obligations include repayment of all loans made by your Bank under the arrangements mentioned in this letter.

[His Honour then set out a letter from Spedley to the bank which referred to the letter from ANI and which further stated that should ANI give the 90 days notice, Spedley would repay all outstanding loans within 30 days.]

In fact, in 1989, the defendant sold its shares in Holdings without first giving 90 days notice and the plaintiff lost the opportunity of calling for repayment of its outstanding loan to Spedley within that period. The defendant did not ensure that Spedley was in a position to meet its financial obligation to the plaintiff as it fell due.

[505] It is common ground between the plaintiff and the defendant that the defendant failed to act in accordance with the statements it made in its letter. It did not, at any time, notify the plaintiff that it did not intend to so act.

Put simply, the plaintiff, BBL, lent Spedley a large sum of money (approximately A$ 7 million) on the "security" of the letter from the defendant. The plaintiff seeks to recover damages from the defendant in respect of its losses, as Spedley is now in liquidation. It has been agreed that only liability should be argued and depending on the outcome, quantum shall be decided later.

The defendant maintains that it is not liable to compensate the plaintiff for any damage it may have suffered. At the forefront of the defendant's argument stands the judgment in *Kleinwort Benson Ltd v Malaysia Mining Corp Berhad* [1989] 1 WLR 379. Three of the Lord Justices in the English Court of Appeal held that the statement in the letter of comfort given by the defendant, concerning its policy with respect to the liabilities of subsidiaries, involved it in no enforceable legal obligation. Ralph Gibson LJ, delivering the judgment of the court, concluded (at 394):

> If my view of this case is correct, the plaintiffs have suffered grave financial loss as a result of the collapse of the tin market and the following decision by the defendants not to honour a moral responsibility which they assumed in order to gain for their subsidiary the finance necessary for the trading operations which the defendants wished that subsidiary to pursue. The defendants have demonstrated, in my judgment, that they made no relevant contractual promise to the plaintiffs which could support the judgment in favour of the plaintiffs. The consequences of the decision of the defendants to repudiate their moral responsibility are not matters for this court.

Before me, two Queen's Counsel, their juniors and a platoon of solicitors were engaged over five days in argument as to whether, as in *Kleinwort Benson*, the defendant in this case, assumed merely a moral responsibility, or whether it was liable at law …

The plaintiff puts its case in a number of ways. First, that the letter of comfort constitutes a binding contractual obligation, which the defendant breached. The plaintiff claims that the letter made two promises enforceable at law. One, that whilst the facility was on foot, the defendant was to provide the plaintiff with 90 days notice of any sale by the defendant of its 45 per cent shareholding in

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Holdings. Two, that, during the life of the facility, the defendant would ensure that Spedley would at all times be in a position to meet its financial obligations as they fell due …

[His Honour then set out the evidence and continued:]

Letters of comfort

[5.35] [520] This is an appropriate point to examine in general terms the learning on letters of comfort, for their purpose and the various modes of their interpretation are indicative of their general standing. As was noted in *Kleinwort Benson*, there is no general rule concerning letters of comfort, although trends can be detected in the academic analysis. The letter of comfort developed as an alternative to a guarantee or surety where the writer, more often than not the parent company, either was unable, or unwilling, to issue one of these more traditional securities. According to Mr Osterreith, letters of comfort were first used in the 1960s in the United States. United States parents were reluctant to give guarantees because they had to be disclosed in the accounts as contingent liabilities. Letters of comfort were not required to be so shown. The same situation applied in Europe and so letters of comfort came into use there as well. In Mr Osterreith's experience, letters of comfort have been invariably sufficient to secure payment to the creditor. Letters of comfort were issued where the parent simply did not want to incur legal liability, where the parent was primarily concerned to protect its own credit rating, where the parent wanted to avoid showing a contingent liability on its balance sheet as this would contravene limits on commitments, and also where there were unfavourable tax and foreign exchange consequences: see generally, "Letters of Responsibility" (1978) 6 *International Business Lawyer* 288–332.

Letters of comfort have become so frequent in international commercial transactions that a German writer characterised them as "collateral sui generis" (Franken, "The Force of Comfort Letters Under German Law" (1985) 6(4) *International Financial Law Review* 14 at 15), although this same writer acknowledges that a great deal of uncertainty surrounds the practical legal obligations imposed by a letter of comfort. This view is reiterated throughout the literature. In each case, it ultimately turns on the terms of the [521] letter. Yet, in this context, the French approach to letters of comfort is refreshingly honest and sensible. Writing in the section on France in the compilation on *Letters of Responsibility* (at 302), Léon Proscour states that:

> A so called "letter of responsibility" will, under French law, be considered as a commitment to perform ("obligation de faire") because in the commercial world the creation of a meaningless instrument or document is unthinkable. It is not a full-sized guaranty [sic] — otherwise it would say it is so — but some performance is provided in order to help a creditor insure his rights. Refusal of such performance opens a case for damages; this is the legal rule of violation of an "obligation de faire".

In *Société Viuda de Jose Tolra v Sodler* (21 December 1987, *La Revue Banque* March 1988) the Cour de Cassation recognised as enforceable security a letter of comfort from a parent company to a creditor of its subsidiary.

The claim in contract

[5.40] This claim turns on the existence or otherwise, of an intention to create legal obligations and whether the terms of the letter are of a sufficiently promissory nature to be held to be contractual. The two questions arise independently, but are interrelated in that it is from the terms of the letter seen against the backdrop of surrounding circumstances that the parties' intentions in both respects fall to be determined.

Turning first to the question of intention to enter into a legal relationship in order to ascertain whether the letter of comfort was intended to give rise to legal obligations, it is necessary to examine the events surrounding its inception. BBL starts with the prima facie presumption that in commercial transactions there is an intention to create legal relations, and the onus of proving the absence of such intention rests with the party "who asserts that no legal effect is intended, and the onus is a heavy

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one": *Edwards v Skyways Ltd* [1964] 1 WLR 349 at 355 per Megaw J. The defendant submits that the *Skyways* onus is discharged by pointing to the course of negotiations leading to the final version of the letter, coupled with a close textual analysis of its terms.

Greig and Davis in *The Law of Contract* (1987) state that: "The overriding test is, of course, that the intentions of the parties, as deduced from the document as a whole seen against the background of the practices of the particular trade or industry": 229–30. Nothing turns on the nomenclature of "letter of comfort", as was observed by the Court of Appeal in *Kleinwort Benson*.

It is clear that at the time of negotiating the initial US$1 million facility, and its subsequent increase to US$5 million, it was made quite clear to both Spedley and ANI that the facility was subject to BBL obtaining a suitable letter of comfort or some other indication of commitment from ANI….

[523] In a very different field of discourse, Lord Justice Scrutton remarked "there will be no Alsatia in England". I believe it was that kind of sentiment that informed the judgment of Sir John Megaw in *Edwards v Skyways Ltd*. There should be no room in the proper flow of commerce for some purgatory where statements made by businessmen, after hard bargaining and made to induce another business person to enter into a business transaction would, without any express statement to that effect, reside in a twilight zone of merely honourable engagement. The whole thrust of the law today is to attempt to give proper effect to commercial transactions. It is for this reason that uncertainty, a concept so much loved by lawyers, has fallen into disfavour as a tool for striking down commercial bargains. If the statements are appropriately promissory in character, courts should enforce them when they are uttered in the course of business and there is no clear indication that they are not intended to be legally enforceable.

If I may say, the judgments of Hirst J, at first instance in *Kleinwort Benson* [1988] 1 WLR 799 and Staughton J, whose unreported judgment in *Chemco Leasing SpA v Redifusion plc* Staughton J, 19 July 1985 is extensively referred to by Hirst J, reflect the bias of experienced commercial judges to pay high regard to the fact that the comfort letters in issue before them came into existence as part and parcel of a commercial banking transaction and that the promises were an important feature of the letters.

In the Court of Appeal in *Kleinwort Benson*, Ralph Gibson LJ held the principle in *Edwards v Skyways Ltd* inapplicable, saying that the presumption of intention only became significant when the words of the agreement were clearly promissory. The Court of Appeal pointed [out] that, in a sense, the trial judge had been asked the incorrect question. The parties had conceded that one of the statements in the letter was a contractual promise and intended to have legal effect. The true question therefore was whether the statement sued upon was promissory in character. It was to this question that the Court of Appeal returned a negative answer.

The Court of Appeal subjected the letters to minute textual analysis. Courts will become irrelevant in the resolution of commercial disputes if they allow this approach to dominate their consideration of commercial documents.

Probably at the heart of the judgment delivered by Ralph Gibson LJ is the statement (at 792): "In my judgment, the defendants made a statement as to what their policy was, and did not in para 3 of the comfort letters expressly promise that such policy would be continued in future".

That construction of the letter renders the document a scrap of paper. If the Lord Justice is correct, the writer has not expressed itself on anything relevant as a matter of honour.

[524] The test prescribed by the law of Australia to determine whether a statement was promissory or only representational is different from that in England. This has been pointed out by McPherson J in *Nemeth v Bayswater Road Pty Ltd* [1988] 2 Qd R 406. His Honour said (at 416):

> The question to be determined therefore is whether the passages in the evidence set out above can be said to give rise to a warranty or promise having contractual effect. In *Dick Bentley Productions Ltd v Harold Smith (Motors) Ltd* [1965] 1 WLR 623 at 627, the matter was stated thus by Lord Denning MR:

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> It was said by Holt CJ, and repeated in *Heilbut, Symons & Co v Buckleton*, that: "An affirmation at the time of the sale is a warranty, provided it appear on evidence to be so 'intended'. But that word 'intended' has given rise to difficulties. I endeavoured to explain in *Oscar Chess Ltd v Williams* that the question whether a warranty was intended depends on the conduct of the parties, on their words and behaviour, rather than on their thoughts. If an intelligent bystander would reasonably infer that a warranty was intended, that will suffice. What conduct, then? What words and behaviour lead to the inference of a warranty?"
>
> Adopting that approach, the problem nevertheless remains of determining what it is in the conduct or words of the parties that in an objective sense demonstrates that they intended a particular statement to be legally binding upon the party making it. After the passage from the case just cited, Lord Denning went on to say that there was prima facie ground for inferring that a warranty was intended if the statement or representation in question was made "for the very purpose of inducing the other party to act upon it, and actually inducing him to act upon it" by entering into the contract. But there is authority binding upon us to hold that such factors alone are not sufficient to convert the statement or representation into a promise or undertaking to be contractually bound to its factual accuracy or to its fulfilment: see *JJ Savage & Sons Pty Ltd v Blakney* (1970) 119 CLR 435 at 443; *Ross v Allis-Chalmers Australia Pty Ltd* (1980) 55 ALJR 8.

Greig and Davis discuss in helpful detail (p 480 et seq) the various matters to be taken into account in determining this objective intention. Obviously the actual words used are a very important indicator.

Nonetheless, it is inimical to the effective administration of justice in commercial disputes that a court should use a finely tuned linguistic fork. A good illustration of where this leads is the well meant effort by counsel for the defendant in the present case in providing me with a schedule showing the similarities and differences between the letter in *Kleinwort Benson* and the present case.

Turning to the terms of this particular letter of comfort, it is clear that the first paragraph contains no contractual representation, but merely an indication of awareness. The second paragraph may be split into two sections; for ease of reference, let the statement in relation to ANI's intention as to reduction of its shareholdings in Holdings be called 2(a), and that pertaining to giving 90 days notice be called 2(b).

Looking at para 2 as a whole, the plaintiff argued that it was expressed in the language of promise, and that the amendments made in the course of [525] negotiations did not detract from this. The defendant, on the other hand, maintained that the inclusion of the word "would" softened the statement to such an extent that it could not be regarded as anything more than a statement of present intention. In addition, the inclusion of "however" indicates that the second part (2(b)) is also only intended to be a statement of intention.

In my opinion, 2(b) contains an undertaking of a contractual nature, which is in no way diminished by the presence of "however". The reason for the use of the word is easily explained. The first limb, 2(a), caters for the contemplated intention. Then 2(b) deals with the situation where, for whatever reason, that intention is to be departed from. In that context, to say "however" should my intentions change is perfectly appropriate use of language in preceding the promise of the action to be taken in that circumstance. That action, that is, the 90 days notice, is intended to confer a clear benefit on the plaintiff. The nature of the benefit appears most clearly from an earlier draft. It enables the plaintiff to obtain immediate reimbursement. The 90 days notice, together with the 30 days period of demand, is a carefully crafted trigger to allow for recovery. The two letters need to be read together as a scheme. That deprives the employment of the word "would" of any significance. The Spedley letter in the second paragraph, in speaking of the 90 days notice for ANI, speaks of "they (that is ANI) will provide you" with the requisite notice. I can see no reason why 2(b) should not be regarded as a promissory statement.

As to 2(a), the now famous letter in *Kleinwort Benson* contained a similar, albeit somewhat stronger, provision: "We confirm that we will not reduce our current financial interest in MMC Metals Ltd until

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the above facilities have been repaid …" The parties there agreed that it was a promise intended to give rise to legal relationships: compare *Commonwealth Bank of Australia v TLI Management Pty Ltd* [1990] VR 510. In the present case, the statement "it would not be our intention to reduce" carries the same import. The only reason for splitting the analysis of para 2 into (a) and (b) would be if the foregoing was held to be incorrect, in that 2(a) was determined not to be contractual. There can, in any case, be no doubt as to the status of 2(b) …

The question whether the third paragraph of the letter of comfort is promissory is far more thorny. However, in my view, if the paragraph is read as follows: "it is our practice to ensure that Spedley is at all times in a position to repay all loans made to it by your Bank", its promissory nature is much clearer. I see no relevant difference between that and saying that "we promise to ensure that" Spedley will at all times be in a position to repay the [526] plaintiff. The letter needs to be read in the light of the statement of policy ascribed to Mr Maher (at 508G): "it is our corporate policy to support our subsidiaries". …

In my view, the plaintiff has made out its claim that the defendant was in breach of two enforceable contractual promises. This enables me to deal with the other issues in a summary fashion.

Judgment for the plaintiff on liability.

DOMESTIC AND SOCIAL AGREEMENTS

[5.45] Domestic and social agreements have in the past been approached on the basis that parties to such agreements are presumed not to intend legal obligations (see, eg, *Jones v Padavatton* [1969] 1 WLR 328, 332–3). In some cases, including the well-known decision of the English Court of Appeal in *Balfour v Balfour* [1919] 2 KB 571, 579, it has almost appeared that there is a rule of law that financial agreements between spouses will not attract legal consequences. In *Ermogenous v Greek Orthodox Community of SA Inc* [2002] HCA 8; (2002) 209 CLR 95 (extracted at [5.10]) Gaudron, McHugh, Hayne and Callinan JJ rejected the idea that any rules can or should be formulated to prescribe the types of cases in which an intention to create legal relations should or should not be found. It is now accepted that, since *Ermogenous*, no presumption should be made about the enforceability of agreements made in a social or domestic context: *Ashton v Pratt* [2015] NSWCA 12; (2015) 88 NSWLR 281, [73]; *Evans v Secretary, Department of Families, Housing, Community Services and Indigenous Affairs* [2012] FCAFC 81, [12]–[16]. Each case will be considered on its own facts, although the nature of the relationship between the parties and the context in which the agreement was made remain important considerations.

Todd v Nicol

[5.50] *Todd v Nicol* [1957] SASR 72 (Supreme Court of South Australia – Action).

[FACTS: The *defendant*, a woman living in Australia, invited the *plaintiffs*, the sister (Margaret Todd) and niece (Grace Todd) of the defendant's deceased husband, to move from Scotland to Australia to share her house and provide her with company. The defendant proposed the arrangement in a letter to the plaintiffs. The defendant promised to alter her will (by making a codicil) so that the house would be theirs until they died (or, in the case of Grace, married). The plaintiffs accepted the offer. They sold their belongings, and the niece resigned her employment. The plaintiffs moved from

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Scotland to South Australia and resided with the defendant for several years. The relationship between the plaintiffs and the defendant deteriorated, and the defendant asked the plaintiffs to leave the house. The plaintiffs claimed they were entitled by contract to remain in the house. The defendant counterclaimed for possession of the house, either on the basis that there was no contract between the parties, or that any contract had been validly terminated.]

MAYO J: [74] In this action the plaintiffs (sister and niece of the defendant's husband, now deceased) claim a declaration that pursuant to a certain contract they are entitled to reside rent free in the premises, 254 Greenhill Road, Hazelwood Park until their respective deaths, or, in the case of the second plaintiff, until marriage. Ancillary relief is also sought in respect of the contract described in the statement of claim. The defendant denies the contract alleged, but, if there be any such contract, she seeks its rescission by counterclaim. There is a reply on behalf of the plaintiffs….

The contract, on which the plaintiffs rely, is said to be contained in letters which passed between the parties. I will quote so much of the correspondence as in my opinion has bearing on the preliminary question that counsel have asked to be determined before other matters are investigated, viz whether there is an agreement legally binding between plaintiffs and defendant whereby the former became entitled to live in the premises mentioned.

Important parts of the defendant's letter to the plaintiffs of date April 6th, 1947, may be cited:

> I have wondered if you would like to come and live with me. That is what I want to know first of all. I must have company at my age and it is not good for anyone to live alone … This is a funny old house … there is quite room enough for you both to come to me (and May Holt, later, when she wants to and has opportunity – which will not be yet as far as we both can see). You would share my home … and no rent at all … All in it we could share for I have enough I think, for all. If … you do sell your belongings – keep your china, and house linen and cutlery for I may not have enough of those things to go round … It is a big thing for you to do … but I think we would be happy together … once you are here or on the way, I would alter my will that the home was to be yours and Gracie's (unless you marry …) until you passed on … and if May Holt is with me, may be she to share it too … I have not mentioned this to Willie but will you consult him? I may tell him in my next letter … of my proposition … think well before accepting my suggestions … if this does not eventuate I will have to work out some other plan for myself.

To that "proposition" the plaintiffs sent a cable and a letter to the defendant. These were not produced, having been destroyed. In substance both these communications were to the effect that they accepted the invitation. It is alleged by the plaintiffs that these documents were productive of the contract. Steps were promptly taken by them to engage passages by steamer for the voyage to Adelaide.

It is an accepted principle that regard may be had to the subsequent conduct of, and communications between, parties for the purpose of discovering whether the intention to be attributed to them was to make a binding arrangement or otherwise, and if the former what the parties understood the terms to be, that is to say, in so far as the words used were not productive of certainty. The acts of parties, where meaning is in doubt, may be used to remove uncertainty, or to explain, but not to contradict, the language used (*Van Diemen's Land Co v Table Cape Marine Board* [1906] AC 92; *Watcham v Attorney-General of the East Africa Protectorate* [1919] AC 533). The manner in which parties act, with the apparent approval of all concerned, may indicate their view of what has been agreed between them.

Upon receipt of the plaintiffs' cable the defendant wrote again, the communication being dated April 16th, 1947. The introductory words are:

> How perfectly thrilling it was to me to get your cable this morn … The little place … we will try and make it home for us all … Today I went in to the solicitor and added a codicil to my will, for I want to protect you both in case anything happens to me before your arrival here … When I sign it the house is yours for life Margaret without expense, also you Gracie (unless

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> you marry) … and if Miss Holt wishes to share the home too she is also protected … I am longing now to get your letter … so that I can know a little more of your immediate plans and how far you have gone and when you can really come … When I know I will try and get the place as I think you would enjoy it best. Anyway we can change round to suit each other when the time comes … I want you to have the beautiful sunshine and freedom of life that one enjoys in Australia…. If you sail before you get another letter … bring your china and linen … hoping we can soon meet.

A letter from the defendant of April 24th refers to a codicil:

> to the effect … you both were to be allowed to live on in this home until you either died too – or were married … and also if I were to die before you came out you were to receive a sum of money to help to carry you on….
>
> I am doing my darndest to think things out for your protection just in case … I went to the Immigration Office … and secured two forms of nomination … although we sound alright on paper you might not like me … when you *have* to live with me. Still I think you will … Margaret … if I can make life … brighter and easier for you and Gracie I would be so happy in doing it.

The plaintiffs left Scotland in June, 1947. They gave up the tenancy of their house, sold furniture and belongings. Grace gave up her employment a fortnight before sailing. Passages were obtained on RMS Stratheden costing about £79 each (tourist class). They arrived in Adelaide about the end of July, and have lived under the same roof as the defendant ever since. A copy of clauses 7 and 8 of the defendant's will was handed to them by her, or on her behalf, after their arrival. The clauses contain certain additions that were not foreshadowed in the [77] correspondence, but it can be said that in substance the provisions secure the home, rent free, to the plaintiffs (with two others) during life if they do not marry, and desire to continue in residence at 254 Greenhill Road.

Unhappily, cordial relationship has not been sustained. As a result the questions involved in the present proceedings have come up for determination by a court of law. The request at present made by counsel for both sides is for a decision whether, as between the parties, there is a contract of a kind that is enforceable, or which, on breach, will sound in damages. If there be such a contract, it may be necessary to ascertain the precise terms (express or implied), also whether a breach was threatened, or has occurred on either side, and what consequences follow. The alternative findings are said to be: (1) The arrangement was purely social. The parties had no actual intention to create legal obligations, and no such intention will be attributed to them. (2) A contract legally enforceable between the parties was entered into. (3) There is no contract other than a licence to reside in the defendant's home, which may be revocable, or irrevocable.

Mr Cleland, for the defendant, claimed that the understanding to which acceptance of the proposal in the letter of April 6th gave rise was in the nature of a family or domestic expedient for mutual convenience, or alternatively a social project based on courtesy. He contended the plaintiffs must show that there was a deliberate promise by the defendant seriously made and supported by consideration. As between relatives or persons on intimate terms of good will, the prima-facie presumption will always be, he claimed (where visits and friendly intercourse are involved) that the basis is not legal obligation but affection and trust. Dr *Bray* submitted that there was a complete mutuality of wills which gave rise to a contract cognizable and enforceable at law.

I do not suppose that it came into the conscious thoughts of any of the parties (ie either plaintiffs or the defendant) that legal sanctions would be called in aid of the plan that was proposed and followed. But even so, that does not solve the problem. There is no explicit reference to, nor indeed any latent indication concerning, methods of enforcement, in the correspondence. Where mutual trust is present, it is unlikely that such an aspect will enter the mind of any party to negotiations. Still less is it likely to be expressed in speech or writing. Nevertheless there is an allusion in the letter of April 24th, to which reference has been made. There was of course a consensus, and that was responsible for the

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voyage by the plaintiffs to Australia. The purpose of the voyage was for them to take up residence with the defendant at her home. Certainly the plaintiffs were licensed to enter upon those premises and reside there. But that fact does not conclude the matter. Residence in the home of another may be on a licence determinable forthwith or by notice. Such a situation could be incidental to travel from Scotland here, or even to a purpose to remain here indefinitely.

Much argument was addressed to the elements that go to make up an enforceable bargain. A contract may be defined as an agreement between two or any number of persons that is intended to be enforceable at law. [78] It comes into being by virtue of an offer on one side which is accepted *on* the other. The offer and the acceptance may be explicit in precise terms, or implied from conduct, or language, which can be properly so construed. The contract may result from communications, by word of mouth, in writing, or by inference from conduct, or by a combination of all or any two of these media.

The subject matter usually involves the parties on either side doing, or abstaining from, conduct of some sort. A factor that is requisite is the presence of valuable consideration. Some right, interest, profit or benefit must be provided for, or some forbearance, detriment, loss or responsibility given, suffered or undertaken. Consideration must "move" from both sides. The adequacy of the benefit or burden, or the balance of equality, does not come up for investigation provided the law attributes some real value to it.

If an intention to enter into an enforceable undertaking does not appear by the express terms of the engagement, it must be capable of being properly read into the provisions. The language used, or the relative situation of the parties to the understanding, may be such as to indicate no such intention was present (*Balfour v Balfour* [1919] 2 KB 571). When the circumstances or conduct of the parties demonstrate that no such purpose was present it will not be imputed (*Booker v Palmer* [1942] 2 All ER 674, at 676–7; *Cobb v Lane* [1952] 1 All ER 1199). If the arrangement by its terms indicates that the plan is merely to take effect as an honourable pledge, or is not to be followed by any legal consequences, it will not have legal enforceability attributed (*Jones v Vernon's Pools Ltd* [1938] 2 All ER 626; *Appleson v H Littlewood Ltd* [1939] 1 All ER 464.) The status in this respect may be explicitly set out in a document (*Rose and Frank Co v JR Crompton & Bros Ltd* [1925] AC 445). Where business arrangements are involved the presumption of enforceability will be readily presumed. Where, however, the situation is not of that kind, such an implication is necessarily more doubtful.

The intention must, of course; be shown to be that of all parties. Where the parties are ad idem consensu, a common purpose will be attributed to them. Neither side will be permitted to prove an intention that is not in conformity with what has passed between them. If the existence of mutuality be in issue, one party or the other may demonstrate by reference to the negotiations (whether committed to paper or oral), that the alleged acceptance was not unqualified, or unconditional, in relation to the terms of the offer, or that the respective intentions of the negotiators differed in material aspects.

Another element concerns the certainty that is required. A contract will not be formulated for parties if they have left important conditions hidden in obscure language, or there are details subject to further negotiation. If provisions are too vague, or too indefinite, for reasonable certainty to be discovered concerning what is intended, the engagements will not be enforced unless the uncertain features are severable from that [79] part constituting the substantive arrangement. As to this aspect arrangements between parties will not necessarily be expected to cover every possible contingency that may arise, particularly where the duration of performance will be lengthy and the circumstances in detail unpredictable. Solvitur ambulando may be the principle for meeting some of such future day to day problems.

It is conceded the plaintiffs had a licence to enter upon the defendant's land and live in her home. The question whether that licence was irrevocable was referred to in argument. It was pointed out that such a licence will be revocable unless (i) there be a grant of an interest in the land, (ii) an agreement for such a licence that is specifically enforceable, or (iii) there is conduct raising an equity

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in favour of the licensees. "Putting it briefly, they must show grant, contract, or estoppel" (*Moffat v Sheppard* (1909) 9 CLR 265 at 286).

As already noticed, in the communications quoted in part, there is no explicit reference to intention, that is to say, to an intention to create obligations that are legally enforceable. In the absence of any statement concerning that purpose it is necessary to inquire whether there is any material from which an inference may be drawn. By a process of reasoning it may be possible to ascertain if any such an intention can be attributed to the parties having regard to the features with which they have enveloped the project.

The essentials of the scheme are somewhat submerged in rather dithyrambic passages of explanation. Counsel have drawn attention to extracts that they have deemed important, and I have essayed a selection. The references show to some extent what the parties contemplated on either side, and accordingly the underlying animus may perhaps be extracted by a process a posteriori. There can be no definite rule or formula for deducing the purpose or intention entertained, that is to say, whether enforcement of a plan is to depend on trust or legal sanction. The process of elucidation will be empirical.

Certain elements incidental to the suggested scheme or plan may be noticed. The expense of travel from Scotland to Australia by two persons who do not seem to be over-endowed with wealth, and the absence of any condition covering a return to Scotland, seem to negative the notion of a visit; a visit that was to provide opportunity for social intercourse. Although one letter from the defendant shows that the possible incompatibility of temperament or temper, the possibility of a "misfit", had occurred to her, no provision for separating or leaving the home before death, except on marriage (the reference to which is concluded in terms suggesting the jocular), was formulated. No provision is put forward to enable the discharge of joint residence, or a termination of the arrangement.

The expectation that certain belongings of the plaintiffs would have to be sold ex necessitate rei, and the suggestion that the sale should not comprise certain household articles probably required to render the premises a home for all, are significant. Thereby is demonstrated an [80] intended combination of resources of an apparently permanent nature. The provision of a testamentary adjunct to give security to the plaintiffs in the administration of the defendant's estate justifies the view that the defendant thought security for the plaintiffs during her lifetime was adequately provided by the plan laid down in the letter of April 6th. The provision by will might be construed, I suppose, as indicating that her goodwill was the safeguard, but I incline to the alternative that the arrangement inter vivos was expected to be binding in some way upon her during her lifetime.

It is undeniable that features in the letters are capable of being harmonised with an hypothesis that the plan was quite safe and secure for the plaintiffs because of the defendant's honourable assurances accompanying or implicit in her invitation, backed up (as it were) by her affection for her deceased husband. But in my view that theory cannot measure up when compared with the weight that must be given to an interpretation that does not place the future of the plaintiffs so largely subject to what would be no more than the whim of the defendant in so material an aspect.

My conclusion is that the intention to be attributed to the parties was to enter into a contract that was legally binding. The element of consideration gives no difficulty provided the other ingredients necessary to form a binding contract are present. Mr Cleland did not suggest that the disposal of property, the expense of travel, the change of location, and the abandonment of employment and of the security of their Scottish residence in exchange for the Australian domicile, had no features capable of being so regarded. I have not yet directed attention to the terms and conditions of that contract express or implicit. Counsel purposely refrained from addressing any arguments on that aspect….

[After further hearing, Majo J considered whether the terms of the contract had been breached by the plaintiffs and, if so, the consequences of such a breach.]

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[75] The defendant sets up an implied term in the contract that the plaintiffs should, whilst residing in the premises mentioned, "behave in a reasonable and decent manner". …

[85] Provision is to be implied in a contract when the matter, to which the same relates, is not covered by express terms, nor annexed thereto by usage, statute or otherwise. But the implication will, even then, be treated as proper to be read into the text, *only* when it is clearly necessary [86] to introduce the term in order to make the contract operative according to the intention of the parties as indicated by the express terms: per Latham CJ in *Scanlan's New Neon Ltd v Tooheys Ltd* (1943) 67 CLR 169, at 194 et seq. The term must be directly related to the project entertained by the parties. If they did not direct their minds to the necessity for some condition to enable the purpose to be carried out, an interpretation of the transaction may be worked out where it is shown to be required, from its character, from the elements which are contained within it. The nature and circumstances of the transaction will supply the grounds from which the intention is to be deduced: eg per Dixon J (as he then was) in *Bonython v The Commonwealth* (1948) 75 CLR 589, at 626.

The most famous and oft repeated passage on this topic emanated from Bowen LJ in *The Moorcock* (1889) 14 PD 64, at 68. Another case that has been highlighted is *Hamlyn & Co v Wood & Co* [1891] 2 QB 488. But it has been commented that the "general remarks" of Bowen LJ do not accurately state the principle as it is now understood (McKinnon LJ in *Shirlaw v Southern Foundries (1926) Ltd* (1939) 2 KB 206, at 227). An implication may be manifestly necessary as an adjunct, so that, if such a term had been suggested to the parties at the time they were negotiating, they would have immediately agreed such a term was indispensable. Ordinarily it appears to be accepted that the provision to be implied must be necessary in the "business sense" to give efficacy to the contract: eg per Scrutton LJ in *Reigate v Union Manufacturing Co* [1918] 1 KB 592, at 605. The bestowal of such efficacy to a contract to join in a home suggests the importation of some sort of "business" activity into a domestic scene. But I suppose "business" in that sense does not limit the principle to contracts of a commercial or trading kind.

A home is a place where the residents ordinarily eat morning and night, and where they usually sleep. With adults it may have the characteristic of permanency. A home is, or used to be regarded as a place of refuge and rest. With modern conveniences, and under the present conditions of life, these aspects may perhaps be regarded as undergoing change. References to "sharing a home" can be taken to import an intention by the parties to live together under conditions of mutual indulgence and forbearance, of propriety, decorum and friendliness, and, if necessary, of resignation and toleration as might be reasonably expected in a home.

Will not a contract to share a home necessarily have implied in it conditions concerning behaviour? I have no difficulty in giving an affirmative answer to that question as a generalization. Acceptance of the licence to enter and remain upon premises for use of the same as a home results in the privilege taking effect as a licence. A limited privilege under licence must, I think carry with it an implicit engagement not to act in any manner that exceeds the scope of the permission….

[88] That plaintiff [Mrs Todd] has not behaved in a reasonable and decent manner in the home. Her conduct is, in my opinion, responsible for the cessation of reasonable home conditions. The contract to which all litigants were parties, the licence under which all three persons lived together at the Hazelwood Park address, came into being in an expectation that all would contribute to satisfactory home conditions. The plaintiffs' licence was to enable them to join in, establish and continue a home for all three persons. Mrs Todd has been responsible for breaches of conditions implied in the contract by virtue of the nature of the licence….

[89] If I am correct in my conclusion, did the breach by the elder plaintiff give the defendant the right to terminate contractual relations and withdraw the licence? I accept the proposition that the plaintiffs on their side, and the defendant on her side, were under duty to conduct themselves, or herself, in a sufficiently reasonable manner that the ordinary features of a home should be available

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to them all. Only under such conditions would life for elderly people under the same roof be possible. In the presence of persistent disruptive influences the locality ceases to be a home, it ceases to have the qualities of a home. As it is no longer a home the licence is ended. Such being the position the defendant was entitled to act, and bring the agreement to an end. Notice by the defendant's solicitors was effective. The arrangements no longer avail the plaintiffs.

There will be judgment for the defendant on the claim and on the counterclaim. Order that the plaintiffs do vacate the premises. The plaintiffs will pay the defendant's costs.

Judgment for defendant on claim and counterclaim.

GOVERNMENT AGREEMENTS

[5.60] Governments and governmental bodies routinely enter into contracts with suppliers of goods and services in the usual fashion. An intention to create legal relations is likely to be manifested when a government enters into a commercial transaction expressed in contractual language (see *Placer Development v Commonwealth* (1969) 121 CLR 353, 367–8 (per Windeyer J extracted at [6.200])). Where the administrative or political activities of government are concerned, however, the courts are likely to find that an intention to create legal relations does not exist (in addition to the following case, see *Australian Woollen Mills Pty Ltd v Commonwealth*, extracted at [4.20]).

Administration of Papua and New Guinea v Leahy

[5.65] *Administration of Papua and New Guinea v Leahy* (1961) 105 CLR 6 (High Court of Australia) – Appeal from the Supreme Court of the Territory of Papua and New Guinea.

[FACTS: For several years, the *plaintiff* had experienced difficulty controlling an infestation of cattle ticks on his property. He was provided with equipment and advice by the Commonwealth Department of Agriculture as part of its tick eradication program. He requested further assistance. In a meeting with representatives of the Department, an arrangement was made that officers of the Department would take over the spraying of the plaintiff's property. The plaintiff was to supply and pay for the other labour required, and to muster the cattle. The department's officers failed to carry out the spraying skilfully and efficiently, and the plaintiff's cattle became even more seriously infected with ticks. The plaintiff sued the *Administration* for damages for breach of contract. The plaintiff succeeded at first instance.]

DIXON CJ: [10] In my opinion this appeal must be allowed on the simple ground that the facts in no way support the conclusion that the defendant, the Administration of the Territory, entered into any such contractual relation with the plaintiff as his pleading alleges or as has been found in his favour. I am clearly of opinion that the Administration of the Territory, by its officers, did not contract with the plaintiff; there was no intention on their part to enter into any contract, to undertake contractual obligations or to do or undertake more than was considered naturally and properly incident to carrying out their governmental or departmental function in the conditions prevailing. They were merely pursuing the policy adopted for the eradication of tick. I do not wish to add anything to the reasons for this view of the case given by Kitto J whose judgment I have had the advantage of reading …

[5.70] McTIERNAN J: I think that this appeal should be allowed … [11] The arrangement consisted of agreed promises but that is not enough to make a contract, unless it was the common intention

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of the parties to enter into legal obligations, mutually communicated, expressly or impliedly. It was not an express or implied term of the arrangement that the respondent should make any payment for the treatment of the cattle. I cannot agree that the Administration through its officers intended to enter into legal relations when, at the request of the respondent, it undertook the organization of the tick eradication campaign with respect to his cattle. The conduct of the parties constituted an administrative arrangement by which the Administration in pursuance of its agricultural policy, gave assistance to an owner of stock to prevent that stock contracting a disease which was prevalent in the Territory. The work done by the Administration was analagous [sic] to a social service which generally does not have as its basis a legal relationship of a contractual nature and from which no right of action would arise in favour of the citizen who is receiving the services if the Government acts inefficiently in performing them …

KITTO J: [13] In the statement of claim one cause of action only against the Administration was alleged, and that was in contract. After setting out that the respondent was the lessee and the appellant, the Administration, was the lessor of a property at Zenag in the Territory, on which for a number of years the respondent had been grazing and rearing dairy and beef cattle and carrying on the business of a producer and vendor of dairy products, beef cattle and meat, the statement of claim alleged a contract between the Administration and the respondent by which the former agreed that it would carry on at Zenag a campaign for the eradication of cattle tick from the respondent's cattle, and that the campaign would be carried out thoroughly and skilfully. The consideration alleged was that the respondent would allow the Administration's servants to enter upon his property and spray the cattle thereon, would make available to the Administration the services of six native labourers, and would forbear from interfering with the work of the servants in carrying out the campaign. The breach assigned was that the Administration, although its servants sprayed the respondent's cattle between June 1954 and July 1955, failed to carry out the spraying thoroughly and skilfully. Particulars of resulting damage were given, comprising loss of cattle by death, loss of natural increase, loss of milk production, and deterioration of condition of the herd …

On the appeal the controversy has been as to whether the proved and admitted facts, when considered in their setting of time and circumstance, establish a contract, or only an arrangement having no legally binding force. The question is whether the parties to [14] the correspondence which passed and the conversations which took place evinced an intention to make a bargain mutually binding between the Administration and the respondent in the sphere of legal rights and obligations …

[18] In the judgment of the learned Chief Justice there occurs the following passage:

Considering the position of the plaintiff it is clear that he was assuming some liabilities and responsibilities and agreed to depart from his own proposals to the extent of co-operating with the Administration to carry out its campaign. I [19] think that it is clear that the plaintiff expected the Department to honour its promises and to see that the campaign was carried out properly. He was prepared to leave the entire conduct of the campaign to the Department and in fact he was insisting that they should take complete charge of it. I think that the proper conclusion is that Mr Leahy was entering into a transaction which as between individuals would amount to a contract and which was intended to impose obligations of a legal character on both parties. There remains of course the question whether in relation to this transaction the Administration should be considered as being upon a different footing from that of an ordinary individual.

It must be remembered, however, that there are not two questions, whether the interviews were such as would have produced a contract if they had taken place between private individuals, and if so whether it makes a difference that they took place between a private individual on the one hand and government officers acting in their official capacities on the other hand. There is only one inquiry: whether, taking into account all the circumstances, it is right to conclude that the respondent and the Administration were dealing with one another on a contractual basis, or were merely arranging

Administration of Papua and New Guinea v Leahy cont.

the manner and extent of gratuitous assistance to the respondent which the Department was willing to render in execution of the Administration's policy concerning the eradication of cattle tick in the Territory …

[20] From first to last the Department showed itself to be doing no more than giving effect to a general policy of dispensing aid to individual cattle owners as a means of coping with a recognized menace to an important part of the Territory's economy. And the respondent's [21] attitude throughout was that of a private person appealing for government assistance on the ground that the Department, by doing for him what it insisted ought to be done on his property, would be performing a function of government in accordance with its settled policy. The whole atmosphere of the correspondence and discussions that took place was different from that which exists between contracting parties. True it is that the Department relied upon the continuing co-operation of the respondent in performing his part of what was arranged between them. The officers concerned were no doubt quite fully aware that if the respondent should make substantial failure at any time in affording the co-operation he was promising, all that had been put into the campaign up to that time would go for nought. But they knew too that he had every incentive to make the campaign a success. The loss, if it should be abandoned, would be far more serious for him than for the Administration, and he had already shown that he felt he was in a cleft stick: he could not afford to carry out a thorough spraying campaign himself, but unless it were carried out he could not get permission to move his cattle from his eaten-out pastures to new country. In the circumstances, the fact that in the absence of a contract he might draw out at any time has no real weight in considering whether a contract was entered into.

For the reasons given, the case falls into the class of which illustrations may be found in *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424; (1955) 93 CLR 546, and *Milne v Attorney-General for the State of Tasmania* (1956) 95 CLR 460, at 472, 473. The arrangements made on 7th June 1954 were not contractual and the judgment giving damages for the failure of the Administration, through the two defaulting officers, to give effect to them on its part cannot be sustained.

Appeal allowed.

PRELIMINARY AGREEMENTS

Masters v Cameron

[5.80] *Masters v Cameron* (1954) 91 CLR 353 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: Cameron (the *respondent)* and Mr and Mrs Masters (the *appellants)* signed a document whereby Cameron agreed to sell and the Masters agreed to buy for £17,500 a certain property owned by Cameron. A deposit of £1,750 was paid by the purchasers to a farm agent. The document contained the following clause: "This agreement is made subject to the preparation of a formal contract of sale which shall be acceptable to my [Cameron's] solicitors on the above terms and conditions". The purchasers encountered financial difficulties, denied that they were legally bound to purchase the property, and sought to recover the deposit.]

THE COURT (DIXON CJ, McTIERNAN and KITTO JJ): [360] The first question in the appeal is whether, as Wolff J considered, this document on its true construction constitutes a binding contract between the respondent and the appellants, or only a record of terms upon which the signatories

Masters v Cameron cont.

were agreed as a basis for the negotiation of a contract. Plainly enough they were agreed that there should be a sale and purchase, and the parties, the property, the price, and the date for possession were all clearly settled between them. All the essentials of a contract are there; but whether there is a contract depends entirely upon the meaning and effect of the final sentence in that portion of the document which the [male] appellant signed.

Where parties who have been in negotiation reach agreement upon terms of a contractual nature and also agree that the matter of their negotiation shall be dealt with by a formal contract, the case may belong to any of three classes. It may be one in which the parties have reached finality in arranging all the terms of their bargain and intended to be immediately bound to the performance of those terms, but at the same time propose to have the terms restated in a form which will be fuller or more precise but not different in effect. Or, secondly, it may be a case in which the parties have completely agreed upon all the terms of their bargain and intend no departure from or addition to that which their agreed terms express or imply, but nevertheless have made performance of one or more of the terms conditional upon the execution of a formal document. Or, thirdly, the case may be one in which the intention of the parties is not to make a concluded bargain at all, unless and until they execute a formal contract.

[5.85] In each of the first two cases there is a binding contract: in the first case a contract binding the parties at once to perform the agreed terms whether the contemplated formal document comes into existence or not, and to join (if they have so agreed) in settling and executing the formal document; and in the second case a contract binding the parties to join in bringing the formal contract into existence and then to carry it into execution. Of these two cases the first is the more common. Throughout the decisions on this branch of the law the proposition is insisted upon which Lord [361] Blackburn expressed in *Rossiter v Miller* (1878) 3 App Cas 1124, where he said that the mere fact that the parties have expressly stipulated that there shall afterwards be a formal agreement prepared, embodying the terms, which shall be signed by the parties does not, by itself, show that they continue merely in negotiation. His Lordship proceeded: "as soon as the fact is established of the final mutual assent of the parties so that those who draw up the formal agreement have not the power to vary the terms already settled, I think the contract is completed": (1878) 3 App Cas 1124 at 1151.

[5.90] A case of the second class came before this court in *Niesmann v Collingridge* (1921) 29 CLR 177, where all the essential terms of a contract had been agreed upon, and the only reference to the execution of a further document was in the term as to price, which stipulated that payment should be made "on the signing of the contract". Rich and Starke JJ observed that this did not make the signing of a contract a condition of agreement, but made it a condition of the obligation to pay, and carried a necessary implication that each party would sign a contract in accordance with the terms of agreement. Their Honours, agreeing with Knox CJ, held that there was no difficulty in decreeing specific performance of the agreement, "and so compelling the performance of a stipulation of the agreement necessary to its carrying out and due completion": (1921) 29 CLR 177 at 185.

[5.95] Cases of the third class are fundamentally different. They are cases in which the terms of agreement are not intended to have, and therefore do not have, any binding effect of their own. The parties may have so provided either because they have dealt only with major matters and contemplate that others will or may be regulated by provisions to be introduced into the formal document, as in *Summergreene v Parker* (1950) 80 CLR 304 or simply because they wish to reserve to themselves a right to withdraw at any time until the formal document is signed. These possibilities were both referred to in *Rossiter v Miller* (1878) 3 App Cas 1124. Lord O'Hagan said (1878) 3 App Cas 1124 at 1149:

> Undoubtedly, if any prospective contract, involving the possibility of new terms, or the modification of those already discussed, remains to be adopted, matters must be taken to be still in a train of negotiation, and a dissatisfied party may refuse to proceed. But when an agreement [362] embracing all the particulars essential for finality and completeness, even though it may be desired to reduce it to shape by a solicitor, is such that those particulars

Masters v Cameron cont.

> must remain unchanged, it is not, in my mind, less coercive because of the technical formality which remains to be made.

And Lord Blackburn said (1878) 3 App Cas 1124 at 1152:

> Parties often do enter into a negotiation meaning that, when they have (or think they have) come to one mind, the result shall be put into formal shape, and then (if on seeing the result in that shape they find they are agreed) signed and made binding; but that each party is to reserve to himself the right to retire from the contract, if, on looking at the formal contract, he finds that though it may represent what he said, it does not represent what he meant to say. Whenever, on the true construction of the evidence, this appears to be the intention, I think that the parties ought not to be held bound till they have executed the formal agreement.

So, as Parker J said in *Von Hatzfeldt-Wildenburg v Alexander* [1912] 1 Ch 284 at 289, in such a case there is no enforceable contract, either because the condition is unfulfilled or because the law does not recognise a contract to enter into a contract.

The question depends upon the intention disclosed by the language the parties have employed, and no special form of words is essential to be used in order that there shall be no contract binding upon the parties before the execution of their agreement in its ultimate shape. Nor is any formula, such as "subject to contract", so intractable as always and necessarily to produce that result. But the natural sense of such words was shown by the language of Lord Westbury when he said in *Chinnock v Marchioness of Ely* (1865) 46 ER 1066 at 1069: "if to a proposal or offer an assent be given subject to a provision as to a contract, then the stipulation as to the contract is a term of the assent, and there is no agreement independent of that stipulation". …

This being the natural meaning of "subject to contract", "subject to the preparation of a formal contract", and expressions [363] of similar import, it has been recognised throughout the cases on the topic that such words prima facie create an overriding condition, so that what has been agreed upon must be regarded as the intended basis for a future contract and not as constituting a contract. Indeed, Lord Greene MR remarked during the argument in *Eccles v Bryant and Pollock* [1948] Ch 93 at 94, that when the expression "subject to contract" was used he had never known a case in which it had been suggested, much less held, that this did not import that there was nothing binding till the exchange of parts of the formal contract was made. The effect of the early cases on the subject was stated by Sir George Jessel MR in *Winn v Bull* (1877) 7 Ch D 29, when he said in a passage which has become well-known (1877) 7 Ch D 29 at 32:

> It comes, therefore, to this, that where you have a proposal or agreement made in writing expressed to be subject to a formal contract being prepared, it means what it says; it is subject to and is dependent upon a formal contract being prepared. When it is not expressly stated to be subject to a formal contract it becomes a question of construction, whether the parties intended that the terms agreed on should be put into form, or whether they should be subject to a new agreement the terms of which are not expressed in detail …

[5.100] [364] In the present case the context provides no reason for holding that the case is outside the application of these authorities. The formal contract, it is true, is to be "on the above terms and conditions", but it is to be acceptable to the vendor's solicitors, and the meaning is sufficiently evident that the contract shall contain, not only the stated terms and conditions expressed in a form satisfactory to the solicitors, but also whatever else the solicitors may fairly consider appropriate to the case. Accordingly the first of the four questions which went to trial should have been answered by saying that no binding contract for the sale and purchase of the property mentioned in the document dated 6 December 1951, was made between [Cameron] and [Masters] …

Appeal allowed.

[5.105] **Note**

In *Baulkham Hills Private Hospital Pty Ltd v GR Securities Pty Ltd* (1986) 40 NSWLR 622, 628, McLelland J suggested that:

> There is in reality a fourth class of case additional to the three mentioned in *Masters v Cameron*, as recognised by Knox CJ, Rich J and Dixon J, in *Sinclair, Scott & Co v Naughton* (1929) 43 CLR 310 at 317, namely, "… one in which the parties were content to be bound immediately and exclusively by the terms which they had agreed upon whilst expecting to make a further contract in substitution for the first contract, containing, by consent, additional terms".

The existence of a "fourth category" has been accepted in many subsequent cases. In *Anaconda Nickel Ltd v Tarmoola Australia Pty Ltd* [2000] WASCA 27; (2000) 22 WAR 101, for example, the Full Court of the Supreme Court of Western Australia (by majority) held that a heads of agreement relating to a mineral exploration venture fell within this category and was therefore binding. As to whether there is a need for the fourth category, see Peden, Carter and Tolhurst, "When Three Just Isn't Enough: The Fourth Category of the 'Subject to Contract' Cases" (2004) 20 *Journal of Contract Law* 156 and McLauchlan, "In Defence of the Fourth Category of Preliminary Agreements: Or Are There Only Two?" (2005) 21 *Journal of Contract Law* 286. In *Tasman Capital Pty Ltd v Sinclair* [2008] NSWCA 248; (2008) 75 NSWLR 1, [26] Giles JA (with whom McColl JA and Young CJ agreed) referred to this debate and observed that:

> The *Masters v Cameron* (1954) 91 CLR 353 categories, and a possible fourth category, are intellectual aids, but whether parties have come to a binding agreement is a matter of their objectively ascertained intention. Categorisation does not greatly contribute to the decision in the particular case, which is concerned with finding what agreement, if any, the parties came to.

CHAPTER **6**

Certainty

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[6.05] The fourth requirement of contract formation is that the agreement must be sufficiently certain and sufficiently complete that the parties' rights and obligations can be identified and enforced. The topic of certainty encompasses three related problems, which often overlap:

1. The agreement may be *incomplete* because the parties have failed to reach agreement on all of the essential elements or have decided that an essential matter should be determined by future agreement.
2. The agreement may be *uncertain* because the terms are too vague or ambiguous for a meaning to be attributed by a court.
3. A particular promise may be *illusory* because the contract effectively gives the promisor an unfettered discretion as to whether to perform the promise.

The categories of uncertainty, incompleteness and illusory promises are not always clearly distinguished in the cases. A particular set of facts may be capable of being analysed in terms of more than one category. As the cases on this topic also illustrate, it is difficult to define in the abstract what is required for a contract to be sufficiently certain and complete. The issue will necessarily depend on the circumstances of the particular case in question. As Lord Tomlin said in *Hillas & Co Ltd v Arcos Ltd* (1932) 38 Com Cas 23, 29:

> The principles are not in dispute. It is in the application of them to the facts of a particular case that the difficulty arises; and the difficulty is of such a kind as often affords room for much legitimate difference of opinion and to present a problem the solution of which is not as a rule to be found by examining authorities.

The cases reflect the tension between, on the one hand, the desire to hold parties to their bargains in accordance with the principle of pacta sunt servanda (agreements must be kept) and, on the other hand, the courts' reluctance to make a bargain for the parties. The difference in judicial opinion as to the role of the court in giving effect to a contract is illustrated by the judgments in *Biotechnology Australia Pty Ltd v Pace* (1988) 15 NSWLR 130, extracted at [6.25] and *Hall v Busst* (1960) 104 CLR 206, extracted at [6.65].

COMPLETENESS

[6.10] In *Milne v Attorney-General (Tas)* (1956) 95 CLR 460, 473 the High Court (Dixon CJ, McTiernan, Williams, Fullagar and Taylor JJ) after referring to certain documents which the plaintiff alleged contained the terms of a contract said:

> Furthermore, apart from the fact that the general purport of the communications in question evinces anything but an intention to affect legal relations, those documents deal with only some of the terms which must of necessity be settled before a binding contract can exist. This is not really a case at all where parties are negotiating with a view to contract, but, even if it be treated as such a case, no contract is concluded until the parties negotiating are agreed on all the terms of their bargain — unless indeed the terms left outstanding are "such as the law will supply" …. Here the transaction ultimately contemplated was of a very complex character, and it is clear that the law cannot supply its terms.

CERTAINTY

[6.15] A contract must be expressed in sufficiently clear and precise terms for it to be given meaning by a court. Uncertainty may exist because deficiencies in expression, semantic or conceptual difficulties prevent the court from understanding what the parties are trying to say. It may exist because, although what the parties have said seems to be clear enough, the application of the language to persons or things is not intelligible, either because no facts exist which fit the contractual description or because more than one set of facts exists, all of which fit the description (see *Raffles v Wichelhaus* (1864) 2 H & C 906; 159 ER 375). The courts have indicated that too high a degree of precision should not be demanded from contracting parties.

Council of the Upper Hunter County District v Australian Chilling and Freezing

[6.20] *Council of the Upper Hunter County District v Australian Chilling and Freezing Co Ltd* (1968) 118 CLR 429 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: The *council*, which purchased electricity in bulk from a generating authority, agreed to supply the *company* with electricity at certain rates. The agreement provided for automatic changes in the rates according to changes in the basic wage and the cost of coal delivered to the generating authority. These changes affected the price at which the council purchased electricity. Clause 5 of the agreement provided:

> It is agreed that during the term of this agreement if the supplier's [the council's] costs shall vary in other respects than has been hereinbefore provided the supplier shall have the right to vary the maximum demand charge and the energy charge by notice in writing to the purchaser.

The agreement also provided for arbitration in the event of a dispute between the parties. The council sought to increase the charge pursuant to cl 5. The company claimed that clause uncertain and that, accordingly, the council had no entitlement to increase the charge. The Court of Appeal of the Supreme Court of New South Wales held that cl 5 of the agreement was void for uncertainty. The High Court allowed an appeal.]

BARWICK CJ: [436] Clause 5 speaks of the supplier's costs varying "in other respects" … It is sufficient for present purposes that at least the council's costs of supplying electricity to the company other than variations in the price it pays to one of the named suppliers for the bulk supply to it are included in the operation of cl 5.

It is surely indisputable that the council would incur other costs than the price of the bulk electricity in order to supply the company as agreed, for example, as a minimal item, the cost of bringing the

Council of the Upper Hunter County District v Australian Chilling and Freezing cont.

supply from the point at which the council received the current to the point of its delivery to the company, such as maintenance of poles, switchgear, etc. But no doubt the identification of all its other items of cost were and the quantification of them must be uncertain in the sense that no single answer to the questions of what and how much they were must necessarily be given no matter whose opinion or judgment is sought …

But a contract of which there can be more than one possible meaning or which when construed can produce in its application more than one result is not therefore void for uncertainty. As long as it is capable of a meaning, it will ultimately bear that meaning which the courts, or in an appropriate case, an arbitrator, decides is its proper construction: and the court or arbitrator [437] will decide its application. The question becomes one of construction, of ascertaining the intention of the parties, and of applying it. Lord Tomlin's words in this connection in *Hillas & Co Ltd v Arcos Ltd* (1932) 147 LT 503, 512, ought to be kept in mind. So long as the language employed by the parties, to use Lord Wright's words in *G Scammell & Nephew Ltd v Ouston* [1941] AC 251, is not "so obscure and so incapable of any definite or precise meaning that the court is unable to attribute to the parties any particular contractual intention", the contract cannot be held to be void or uncertain or meaningless. In the search for that intention, no narrow or pedantic approach is warranted, particularly in the case of commercial arrangements. Thus will uncertainty of meaning, as distinct from absence of meaning or of intention, be resolved.

I do not think there is any uncertainty or for that matter ambiguity in the expression "supplier's costs" in cl 5, however wide may be the area of possible disagreement as to its denotation in a particular case. A contract to build a bridge at cost could not, in my opinion, be held void for uncertainty: it could not properly, in my opinion, be said to be meaningless: nor is it, in my opinion, ambiguous. Endless might be the arguments pro and con as to whether or not in marginal cases some item of expenditure is as claimed a cost, or as to how much of an expenditure is a cost, of the particular activity. But to my mind, generally speaking, the concept of a cost of doing something is certain in the sense that it provides a criterion by reference to which the rights of the parties may ultimately and logically be worked out, if not by the parties then by the courts. There are no elements in the circumstances of this contract to deprive the concept of that certainty. The obiter dictum in *York Air Conditioning and Refrigeration (A/asia) Pty Ltd v Commonwealth* (1949) 80 CLR 11, 60, may provide an instance where an attempt to limit the concept of a cost may have robbed the concept of its certainty and have introduced uncertainty incapable of resolution by construction.

In this case the contract itself provided the means of the resolution of any question as to what items constituted supplier's costs, namely, by the decision of an arbitrator whose judgment as to whether or not there had been a variation in items of expenditure which were embraced in what he found to be the supplier's costs was agreed to be final and binding, subject of course to the terms of the *Arbitration Act 1902* (NSW), and thus to the possibility of a case stated for the opinion of the court. Of course, if the words "supplier's [438] costs" were meaningless, the presence of the arbitration clause would not save the clause. But, as I have said, cl 5 provides a certain criterion by reference to which the differences of the parties as to the propriety of an increase in charges could be resolved ….

Appeal allowed.

Implying objective standards

Biotechnology Australia v Pace

[6.25] *Biotechnology Australia Pty Ltd v Pace* (1988) 15 NSWLR 130 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Allen J.

Biotechnology Australia v Pace cont.

[FACTS: Dr Pace (the respondent), a senior scientist, entered into a contract of employment with Biotechnology (the appellant). The relevant term of the contract was to be found in a letter of offer of employment from a director of Biotechnology which stated: "I confirm a salary package of $A36 000 per annum, a fully maintained company car and the option to participate in the Company's senior staff equity sharing scheme."

At the time of the offer, as Dr Pace was aware, no such scheme existed. None was subsequently brought into effect.

On termination of the employment, Dr Pace claimed damages in respect of Biotechnology's failure to provide him with an option to join a company senior staff equity sharing scheme. The trial judge held Biotechnology liable for damages for breach of its contractual promise to provide Dr Pace with an opportunity to acquire shares in the company. Biotechnology appealed.]

KIRBY P: [132] In *Stocks & Holdings (Constructors) Pty Ltd v Arrowsmith* (1964) 64 SR (NSW) 211, 217; 81 WN (Pt 2) (NSW) 184, 186, Herron CJ commented that the problem of uncertainty was one "as to which there is much room for a difference of opinion, for it raises one of the most contentious aspects of the law of contract".

This appeal, and numerous other cases raising analogous problems, bear out that comment. The appeal illustrates a tension which exists in the law. On the one hand there is the natural desire of courts to uphold, and not to frustrate, a contract between the parties. On the other hand is the unwillingness of courts to uphold contractual terms which are unacceptably ambiguous or uncertain. Courts will not enforce contracts with such provisions that suggest that agreement between the parties as to essential terms, even though apparent, was illusory.

Upholding the contract – but what contract?

[6.30] The first tendency was given voice in the words of Lord Tomlin in *Hillas & Co Ltd v Arcos Ltd* [1932] All ER Rep 494, 499; 147 LT 503, 512; 38 Com Cas 23, 29, when his Lordship said:

> the problem for a court of construction must always be so to balance matters that, without violation of essential principle, the dealings of men may as far as possible be treated as effective, and that the law may not incur the reproach of being the destroyer of bargains.

In Australia Mason J expressed the same idea in *Meehan v Jones* (1982) 149 CLR 571, 589:

> To say that clauses of this kind ["subject to finance"] are void for uncertainty is to ignore the traditional doctrine that courts should be astute to adopt a construction which will preserve the validity of the contract. Moreover, it is a draconian solution — one which is best calculated to frustrate the expectations of the parties, because in an increasing number of cases purchasers depend on the provision of finance in order to complete.

But there are limits. Contracts are the agreements between parties. Generally, their terms must be those which reflect the will of the parties, objectively determined. Judges, by reason of their experience and knowledge, may not have the relevant expertise by which to clarify the ambiguous, elucidate the uncertain or give content to the illusory terms of a contract or suggested contract between the parties. To do so by reference to an imported standard of reasonableness may satisfy the lawyer's desire for fairness. But the law of contract which underpins the economy, does not, even today, operate uniformly upon a principle of fairness. It is the essence [133] of entrepreneurship that parties will sometimes act with selfishness. That motivation may or may not produce fairness to the other party. The law may legitimately insist upon honesty of dealings. However, I doubt that, statute or special cases apart, it does or should enforce a regime of fairness upon the multitude of economic transactions governed by the law of contract.

The recognition of the limited capacity of the courts to substitute their views of what is "fair" for the parties who have failed or neglected to do so, is expressed in many cases …

It is an attribute of a free society, as we know it, that it is generally left to parties themselves to make bargains. It is therefore left to them sometimes to fail to make bargains or to fail to agree on particular

Biotechnology Australia v Pace cont.

terms. Well meaning, paternalistic interference by courts in the market place, unless authorised by statute or clear authority, transfers to the courts the economic decisions which our law, properly in my view, normally reserves to parties themselves …

The legal principles applicable

[6.35] [134] The case law on ambiguous, uncertain and illusory contracts is enormous. Some of it is difficult to reconcile because of the different ways in which judges have classified disputed terms, for example, as so illusory as to deny a contract at all or so ambiguous or uncertain as to deny enforcement of the contract, although clearly one was intended. Some commentators urge that it is essential to maintain a "sharp distinction" between terms which are vague, uncertain or ambiguous and those which are illusory: see, for example, Lücke, "Illusory, Vague and Uncertain Contractual Terms" (1977) 6 Adel L Rev 1 at 2. Others suggest that the concepts are interchangeable or at least merge into each other along a spectrum which begins with the vague, passes through the ambiguous, reaches the uncertain and finally disappears into the illusory.

[135] In the High Court of Australia, Taylor and Owen JJ sought to explain the distinction between terms which are illusory and those which are real but uncertain. They do so in their joint judgment in *Placer Development Ltd v Commonwealth* (1969) 121 CLR 353, 359-60:

> a promise to pay an unspecified amount of money is not enforceable where it expressly appears that the amount to be paid is to rest in the discretion of the promisor and the deficiency is not remedied by a subsequent provision that the promisor will, in this discretion, fix the amount of the payment. Promises of this character are treated by Pollock (*Principles of Contract* (12th ed, 1946), pp 38, 39) not as vague and uncertain promises — for their meaning is only too clear — but as illusory promises.

Accepting, therefore, the distinction (but acknowledging that, at the margins, there will be legitimate differences of view about the legal classification to be applied in the particular case), the following general observations may be made about the task of classification required in cases of this sort:

(1) The determination of every case depends upon its own facts. The meaning of the agreement between the parties must be discovered objectively. Where there is suggested ambiguity or vagueness or where it is urged that a term is illusory, it may sometimes be both necessary and appropriate to have regard to extrinsic evidence in order to give meaning to that to which the parties have agreed: see, for example, *Kell v Harris* (1915) 15 SR (NSW) 473,479; 32 WN (NSW) 133, 136 and *Raffles v Wichelhaus* (1864) 2 H & C 906; 159 ER 375.

(2) The court will endeavour to uphold the validity of the agreement between the parties: see *Hillas & Co Ltd v Arcos Ltd*. The court will attempt to avoid frustrating the wishes of the contracting parties so far as those wishes may be ascertained from the agreement between them: see *Meehan* (at 589); see also Barwick CJ in *Upper Hunter County District Council v Australian Chilling & Freezing Co Ltd* (1968) 118 CLR 429, 437 where his Honour said that: "In the search for that intention, no narrow or pedantic approach is warranted, particularly in the case of commercial arrangements."

(3) But the court will not do so, where, in effect, it is asked to spell out, to an unacceptable extent, that to which the parties have themselves failed to agree. Nor will the court clarify that which is irremediably obscure. Most particularly, the court will not accept for itself a discretion which the parties have, by their agreement, reserved to one or other of them. To do so would not be to effect the contract but to change it.

(4) Views will differ about the classification of the challenged provision and whether the court can or cannot give effect to it. Usually, there is no objectively right decision in these cases. That fact is illustrated by the frequency with which there are strongly expressed differences of judicial opinion concerning whether the case falls on one side of the line or the other. So it was in *Placer Development* where Kitto, Taylor and Owen JJ found that a clause in an agreement with the Commonwealth relating to a conditional entitlement to a subsidy was unenforceable.

Biotechnology Australia v Pace cont.

Menzies and Windeyer JJ dissented. Likewise in this case, Hope JA and Allen J have [136] reached their respective views that the clause fell on one side of the line. Respectfully, I differ and agree with McHugh JA.

(5) Nevertheless, the differences of result are not simply the result of differing judicial opinion based on nothing more than personal predilection. True, it is possible that behind the willingness of courts to fashion with precision a term which the parties have failed or neglected to clarify could be analysed in terms of differing fundamental attitudes concerning the role of courts in disturbing the economic relations of contracting parties. I say no more of that. Alternatively, it has been suggested that the willingness of courts to give content to the expression "subject to finance" in land title conveyancing transactions derives from the special nature of such transactions. In them, judges, familiar with the incidents of such contracts, feel confident that they can fill the gaps which the parties have left. In other cases, less familiar, they do not: see, for example, the comment by Prof Sutton, "Certainty of Contract" (1977) 7 Q Law Soc J 5 at 11. However that may be, the court will pay regard to features of the agreement, of the relationship between the parties and of relevant external reference points in order to determine whether the term which is challenged can or cannot be sustained.

(6) Matters which have been considered relevant in the determination of these cases include the following:

(a) The provision in question, although an essential term, may be left in adequately clear terms to be settled by an identified third party who is given power to settle ambiguities and uncertainties.

(b) But even then, if the term is so vital that leaving it to one only of the parties unacceptably removes certainty in the arrangement, the court may or may not refuse to enforce it as illusory or unacceptably uncertain: contrast, for example, *May and Butcher Ltd v The King* [1934] 2 KB 17(n) and the comment of Gibbs J in *Godecke v Kirwan* (1973) 129 CLR 629, 646–7.

(c) Where there is a readily ascertainable external standard which is proved, the court will have regard to it in order to add flesh to the provision which, on its own, is unacceptably vague and uncertain or apparently illusory. This is what happened in *Sweet & Maxwell Ltd v Universal News Services Ltd* [1964] 2 QB 699: see also *Meehan v Jones* at 589.

(d) Where a contract provides a term containing a specified range of possibilities, a court, rather than avoiding the contract will hold the party to providing at least the minimum provision in the range, that is to say the one which is the most favourable to it. This is what occurred in *Lewandowski v Mead Carney-BCA Pty Ltd* [1973] 2 NSWLR 640, 643. The contract had provided for the payment of a salary in the range of $7000 to $9000 per annum. This court (Jacobs P, Hardie and Bowen JJA concurring) held that the effect of the agreement between the parties was to prescribe the minimum of $7000 so that the contract was not void for uncertainty.

With these principles in mind, I now turn back to the facts of the present case. There is no contest but that the promise of an equity sharing arrangement of some kind was one of the four elements in the contract of service "package" which the appellant offered and the respondent accepted. But was it so devoid of meaning and so dependent upon the initiatives and decisions of one party only to the transaction (the appellant) as to be [137] illusory? Alternatively, was it so uncertain of content that it cannot now be enforced in its terms, even as elaborated by admissible extrinsic evidence?

The contract is illusory or its terms unenforceable

[6.40] Unfortunately, it is my opinion that the answers to both of these questions must be in the affirmative. I say unfortunately because there is little doubt that this unfulfilled term of the letter of

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offer handed to the respondent was important to him and was common in contracts of employment for persons with talents similar to those of the respondent. Had it been absent from the "salary package", it is at least doubtful that the respondent would have accepted the offer. What he would have done is, however, not certain. The respondent had an apparent desire, for personal reasons, to return to Australia where he had been born. But at least it was a term which he had been promised, which was important and apparently valuable and which he had accepted.

The problem for the court is that the term is just too uncertain of content. It depends for fulfilment upon the decision of one party to the agreement only, namely the appellant. There is no external standard which can be appealed to in order to fix an "appropriate" or "reasonable" equity participation scheme, even assuming that to be what was intended or what the law would impute to the appellant. The appellant is not, and never was, a publicly listed company. Accordingly, there was no external standard by which shares in the enterprise could be determined authoritatively. It was not shown in the evidence that there was any standard or market reference point for a participation scheme in the equity of a company such as the appellant. The existence of other schemes in other companies with other products and other scientists provides no such reference point such as the High Court was able to find in *Godecke* and *Meehan*.

If, however, contrary to my view, the promise was not illusory for these reasons, it was nonetheless void for uncertainty because the challenged term contained within it too many elements which are uncertain. How many shares in Biotech were to be devoted to the participation scheme? What class of shares were to be held by the senior scientists such as the respondent? What were to be the terms of the options upon [which] the shares would issue? In any differentiation between employees, where would the respondent stand? What rights would attach to the shares? Upon what terms were they to be acquired and subject to what terms disposed of by employees? Indeed, the whole complex provisions of an equity participation scheme in company shares provide the definition of the problem which the promise, in the terms in which it was made, presents for the respondent. As he knew, he accepted the offer of the appellant when no such scheme existed. At the time of the hearing before Allen J, no such scheme existed. It may never exist. It seems that the company has not proved at this stage to be as profitable as was at first expected. However that may be, the bare bones of the promise to establish such a scheme leave too many decisions to be made for a court to attempt to give content to the promise by substituting its opinion of a fair scheme in view of the failure of the appellant to establish such a scheme as the appellant promised to do. In the evidence proved in this case, I see no warrant for the court's filling in the gaps by reference to an international market in such equity participation schemes for scientists. There are too many features of apparent peculiarity in such schemes, offered by different [138] biotechnology companies, to make it safe to conclude that an objectively ascertainable external standard exists for such "equity participation schemes".

In the end, in my opinion, the court must draw back from filling the gaps which the parties did not themselves fill …

I am of the opinion that the promise of the appellant did not, in the words of Kitto J in *Placer* (at 357), create any contractual obligation to the respondent which he may enforce in a court of law. It was rather, in his Honour's words in *Thorby v Goldberg* (1964) 112 CLR 597, 603, a provision for "future arrangements" not a contract concluded before the parties. Alternatively, if it was a term of the contract, it was irredeemably vague and uncertain and so unenforceable. I am therefore led to the conclusion that the course which Allen J took, although an understandable attempt to give effect to the presumed intention of the parties, cannot be sustained by reference to legal authority …

McHUGH JA:

Was the consideration illusory?

[6.45] [150] A contract made for a consideration which is illusory is unenforceable: *Placer Development Ltd v Commonwealth* at 356, [151] 360–1 and *Meehan v Jones* (1982) 149 CLR 571, 581. A consideration is illusory if its payment or fulfilment depends upon an unfettered discretion vested in the promisor. Thus a promise by the Commonwealth that it will pay a subsidy "of an amount or

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at a rate determined by the Commonwealth from time to time" is an illusory consideration: *Placer Development Ltd v Commonwealth*. So is a promise that any services rendered by a person would "be taken into consideration, and such remuneration be made as should be deemed right": *Taylor v Brewer* (1813) 1 M & S 290; 105 ER 108. Likewise the consideration is illusory where an employer promises to pay "such sum of money as I may deem right as compensation for labour done": *Roberts v Smith* (1859) 4 H & N 315; 157 ER 861. The decision of the Privy Council in *Kofi-Sunkersette Obu v A Strauss & Co Ltd* [1951] AC 243 is also an illustration of an illusory consideration. The agreement between the parties provided that a "commission is also to be paid to me by the company which I have agreed to leave to the discretion of the company". The Judicial Committee said (at 250) that the court could not determine the basis and rate of the commission. "To do so would involve not only making a new agreement for the parties but varying the existing agreement by transferring to the court the exercise of the discretion vested" in the company.

In all these cases, there was an express or implied statement that the consideration was payable only if the promisor elected to do so. However, in the case of a commercial or employment agreement under which the promisee provides services, the proper conclusion ordinarily to be drawn is that the services or consideration were not intended to be performed gratuitously: compare *Way v Latilla* [1937] 3 All ER 759, 763. In the absence of express words or necessary implication, it will be proper to conclude that the services were to be paid for by reference to some standard of measurement. The usual standard is that of reasonable remuneration based on market or industry criteria. Where there is a firm promise to pay or remunerate the promisee in return for his services, a conclusion that the consideration was illusory will only be drawn where no standard exists by which the promise can be valued. But even when no objective criterion of measurement is available, it may still be possible to infer a promise to act honestly and/or reasonably. Moreover, notwithstanding that the promisor retains a discretion, the consideration will not be illusory if the discretion must be exercised within specified parameters. In *Lewandowski v Mead Carney-BCA Pty Ltd* [1973] 2 NSWLR 640, this court held that a promise to pay "a salary within a range of $7 000–$9 000 per annum" was not illusory. The promise imported an obligation to pay a minimum salary of $7 000 per annum. In *Thorby v Goldberg* the High Court held that a contract was made although one party was given "considerable discretion" as to how it carried out its obligations. Kitto J said (at 605) that "an agreement is not void for uncertainty because it leaves one party or group of parties a latitude of choice as to the manner in which agreed stipulations shall be carried into effect, nor does it for that reason fall short of being a concluded contract."

In the present case, Allen J thought that the promise of Biotech was not illusory because "there was a pertinent market measure". His Honour said that there was a market for the "salary packages" of scientists in the position of Dr Pace and the existence of that market "made it appropriate to apply [152] the concept of reasonableness". The order, which his Honour made remitting the assessment of damages to the master, indicates that the learned judge thought that the value of the shareholding to be acquired by Dr Pace could be ascertained by deducting his salary and car entitlement from a sum determined by reference to the overall monetary value of the remuneration of comparable scientists.

There was no evidence before his Honour as to the exact remuneration paid to "world class biotechnologists employed in commercial work of comparable standard and responsibility". However, there was evidence concerning the three offers which Dr Pace was considering at the time when he first contacted Biotech. In addition, as his Honour noted, Dr MacLennan had said that it was a common feature of an employment package offered by overseas research companies that it contained "the opportunity to acquire shares in the company". But whether the values of the salary packages paid by overseas companies were sufficiently uniform to enable a judgment to be made as to what was a "reasonably competitive" package for Dr Pace was not proved. One may be pardoned for thinking that the values of packages containing rights to participate in the issue of shares in companies in a new and speculative field would vary enormously. Some companies would succeed. Some would fail. Moreover, there would seem to be difficulties in comparing a "salary package" of a fixed sum and no equity participation, which were two of the offers Dr Pace received, with a "salary package" containing a fixed sum and shares in a research company which is commencing trading …

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In the absence of evidence on the point, I would doubt that the "salary packages" of comparable scientists in the biotechnological fields could be compared in a way which would produce a criterion of reasonableness. Counsel for Dr Pace contended that difficulties in formulating a standard could only affect the measure of damages and not whether Biotech was liable. However, since the onus was on Dr Pace to prove that the promise of Biotech was part of the consideration for his services, the approach of Allen J requires that Dr Pace prove that the promise could be valued [153] independently of what Biotech might ultimately offer by way of equity participation. It is, however, unnecessary to determine whether, as his Honour thought, there was "a pertinent market measure". For there is another ground which leads me not to accept the approach of the learned judge.

His Honour's approach necessarily involved the conclusion that not only was Biotech obliged to offer shares to Dr Pace but also that a court could say, by reference to the "pertinent market measure", whether any actual offer accorded with the promise of Biotech. However, even if one accepts that there was a benchmark by which the reasonableness of the offer could be measured, I think that the parties did not intend that the offer should be judged against that benchmark. I think that the conclusion to be drawn from the parties' conversations is that, although there was to be a participating share scheme, both sides recognised that its formulation was dependent on factors special to Biotech and its relationship with CRA and that ultimately it was Biotech which would decide both the nature of the scheme and the rights of the individuals participating in it.

From the beginning, Dr Pace was aware that no definite scheme had been formulated …

[154] Mr Bathurst [counsel for Dr Pace] argued that the terms of such an agreement would not be void for uncertainty. He relied on *Thorby v Goldberg* at 613–14 and *Meehan v Jones* at 580–2, 589–91 and 597. These decisions show that a contract is not void for uncertainty because the carrying out of obligations of one party is left to his discretion. The ratio of *Thorby* is that an agreement is not void because it gives one party "a latitude of choice as to the manner in which agreed stipulations shall be carried into effect". In the [155] present case nothing was agreed except that Dr Pace would be entitled to participate in the equity staff scheme. *Thorby* might arguably be in point if the parties had agreed on the number and class of shares which Dr Pace was to receive but left other details to be formulated by Biotech. In *Meehan v Jones* the High Court held that a contract was enforceable although it was subject to a condition of "the purchaser or his nominee receiving approval for finance on satisfactory terms and conditions". The court held that it was for the purchaser to determine whether the condition was satisfied and that he must act honestly … The ratio of the decision, however, throws no light on the question whether the offer of participation in the equity share scheme was binding on Biotech.

If the letter of 24 December 1980 had stood alone, the promise of participation in the share scheme would have contained an undertaking that the scheme existed. In *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377, the High Court held that there was a contract between the parties where the Commission had sold an oil tanker which did not exist. Dixon and Fullagar JJ said (at 410) that there "*was* a contract, and the Commission contracted that a tanker existed in the position specified". But here the parties knew that the share scheme did not exist.

The question then arises as to whether the promise of Biotech that Dr Pace could participate in the scheme imported a further promise that it would bring the scheme into existence. That is, was there a promise that Dr Pace could participate only if and when a scheme was formulated? Or was there a promise that a scheme would be formulated? Clearly both parties assumed that the scheme would come into existence. But it does not follow that the assumption of Biotech and its promise of participation imported a promise that it would implement the scheme …

[McHugh JA considered the evidence and continued:]

Accordingly, I do not think that there was any express promise, as opposed to a representation, that Biotech would institute the scheme. Nor do I think that such a promise should be implied. Both parties assumed that there would be a share scheme. Biotech clearly intended to bring such a [156]

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scheme into effect. But I do not think that it made a promise to Dr Pace that it would do so. The action brought by Dr Pace must fail.

Even if Biotech had made an express or implied promise to implement a scheme, I do not think the submission on behalf of Dr Pace could be upheld or at all events that its breach would require more than nominal damages. The promise is too illusory or too vague and uncertain to be enforceable or, if it is not, its breach would only give rise to nominal damages. There is no standard by which a court could determine in any meaningful sense whether such a promise was broken …

[6.50] HOPE JA [dissenting; after reviewing the more recent decisions on the topic, including those of the High Court, his Honour continued]:

[143] All these decisions show how far courts are prepared to go in order to find that there is an enforceable contractual promise where that is what the parties have intended. There are of course limitations. I have already referred to the case where the promisor has a discretion, not only as to what he shall do, but also as to whether he shall do anything. Such a promise is illusory. Furthermore it appears that the promise will not be enforceable if the manner of performance, including the amount of money to be paid or, if relevant, the number of shares to be offered, is a matter entirely in the discretion of the promisor and no criteria by which the performance required of the promisor can be measured, or the minimum of that performance can be measured, is expressed or can be found to be implied …

As it seems to me this was also the basis of the decision of the High Court in *Placer Development Ltd v Commonwealth* …

[145] Allen J concluded that what was to be offered to Dr Pace should be measured by reference to an international standard … With respect to the learned judge, I am unable to accept this approach. Biotech's promise related to the remuneration of the inducement to Dr Pace to work for a particular company in Sydney. It is in that context that the problem has to be considered and not in the context of what benefits top scientists might receive from other companies in countries in other parts of the world. I think that Biotech would undoubtedly look at international experience in deciding what to do, and that any expert giving evidence could have regard to it, but it would not determine the matter.

If this criteria is not available, what is left? As it seems to me, Biotech was bound at least to make an offer which was an honest one, which gave Dr Pace an option of real and not nominal value and which, in the light of all the circumstances, including the matters in contemplation of the parties at the time when the agreement was made, including the potential of the company, could be found to be reasonable.

The law has filled innumerable lacunae in the contractual arrangements of parties by applying a doctrine of reasonableness. Reasonableness is partly but not wholly coincidental with honesty. Dishonesty could not be reasonable, but no doubt a lack of reasonableness covers both honest and dishonest acts. Can the concepts of honesty and reasonableness be imported as criteria by which to determine the minimum obligation of Biotech?

I have already referred to the dicta of Lord Wright in *Hillas* on the importation of reasonableness into contracts. Those dicta did not formulate some new concept; they were based on long-standing principle. A more recent decision importing reasonableness in respect of performance is to be found in the decision of the English Court of Appeal in *Powell v Braun* [1954] 1 WLR 401. There Powell had been employed [146] by Braun as his secretary in his business for two years. He wrote to her expressing satisfaction at her services in the past and the wish that she would undertake additional responsibility in the future. He offered to pay her, in recognition of those past services and the additional responsibility, a bonus on the net trading profits of the business instead of an increase in salary. Powell accepted this offer. The Court of Appeal held that the contract was enforceable, that the parties had not intended that the payment of the bonus was to be purely in the discretion of Braun and that Powell was entitled to a reasonable sum. Evershed MR (at 405; 486) said:

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> Assisted as I have been by the cases cited, which illustrate the approach which the court makes in cases of this kind, I conclude here, as a matter of construction, that the parties did not mean and intend the payment of a bonus to be purely discretionary.
>
> That, however, leaves the further question whether the whole document is in its terms and character too vague and general to be capable of supporting a claim of this kind. Again I reject that view. Once it is concluded that this was not to be a reward in the discretion of the defendant, then inevitably it must mean, according to its terms, that the sum to be paid — unless the parties chose from time to time to agree some other figure — would be a reasonable sum; that is, a sum arrived at so as to bear a reasonable relationship to the trading profit. Of course, if there were no trading profit, no doubt there would be no so called bonus; but, in any other event, then I think that the principle of a quantum meruit or of reasonable remuneration (which comes to the same thing) is no less applicable where the remuneration in question is additional remuneration — that is over and above the fixed salary — than it is to a case where it is the only remuneration.

In a rather different context a similar approach was adopted in *Meehan v Jones* …

[147] Trying, as in my opinion the court is bound to do, to give effect to the intention of the parties, I find it difficult not to conclude that as well as being required to establish a scheme, Biotech was required to give Dr Pace an option on terms which it had honestly arrived at, that is to say, on terms arrived at in honestly trying to perform its promise and not merely going through the motions of doing so. Next I see no reason why the concept of reasonableness should not also be imported. The role of staff equity sharing schemes in employment contracts is sufficiently well established to enable courts to apply the concept of reasonableness to them, in the same way as they are able to apply it to bonuses. The schemes are more complex than bonuses, but that merely makes the resolution of the problem more difficult; it does not deny the possibility of resolution.

Neither honesty nor reasonableness would identify the precise amount of the offer which Biotech would decide to make, but they would in my opinion provide criteria to fix the amount of the minimum offer Biotech was required to make. The circumstances which would have to be taken into account in determining reasonableness in such a context are many and varied, and having regard to the way in which the case has been divided, I doubt that evidence concerning them, or at least all of them, has been tendered. This is the result of severing the issue of liability from the issue of damages. However part of those circumstances would be that Biotech's promise was intended to induce Dr Pace to join and to remain with it, and that the parties intended that the value of the option granted should not be less than what ought reasonably [to] have induced Dr Pace to join and to remain with Biotech. No doubt there was also to be considered the nature, size and like circumstances of the company, and its profit potential. However I do not think that the law is so removed from commercial and employment practice and exercise that expert evidence should not be admissible to establish what the minimum reasonable amount should be. [148] Hobhouse J referred to some of the considerations that would be relevant in determining what was equitable in the decision in *Didymi Corp v Atlantic Lines & Navigation Co Inc (The "Didymi")* [1988] 2 Lloyd's Rep 108. In cases involving the assessment of compensation for or valuation of land, valuers regularly give evidence of the value of the most obscure and unlikely, and indeed artificial, interests. If in the event that the evidence is not available, Dr Pace would be entitled only to nominal damages. However in my opinion the proper conclusion at this stage of the hearing is that as there was a valid and enforceable contractual promise on the part of Biotech to establish a senior staff equity sharing scheme and that the promise was not unenforceable for uncertainty or as being illusory …

Appeal allowed.

Whitlock v Brew

[6.55] *Whitlock v Brew* (1968) 118 CLR 445 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: Whitlock (the *vendor/appellant)* agreed to sell, and Brew (the *purchaser/respondent)* agreed to buy an area of land for the price of £165,000. A contract of sale was drawn up and signed by both parties.

Clause 5, one of the "special conditions" of the contract, provided:

> Portion of the land sold is used for the sale of petroleum, oils and greases and petroleum products of the Shell Co of Australia Limited. The purchaser covenants that he will immediately upon taking possession hereunder grant a lease of that portion of the land sold as is now used for the sale of the abovementioned products to the Shell Co of Australia Limited upon terms that the said land leased as aforesaid be used by Shell or their sub-tenant or licensee for the sale of such products and upon such reasonable terms as commonly govern such a lease. In the event of any dispute between the parties as to the interpretation or operation of this clause such dispute shall be referred to an arbitrator to be appointed failing agreement as to an arbitrator by the President for the time being of the Law Institute of Victoria and such arbitrator shall arbitrate thereon in accordance with the provisions of the *Arbitration Act 1958*.

The purchaser paid a deposit of £15,600 but thereafter declined to complete the purchase. The vendor, in pursuance of his rights under the contract rescinded it and kept the deposit. The purchaser brought action in the Supreme Court to recover the deposit on the ground that the contract was void for uncertainty.

The trial judge held that cl 5 was void but as it was severable from the rest of the contract, the whole contract was not void and entered judgment for the vendor. An appeal to the Full Court of the Supreme Court by the purchaser was successful. The vendor appealed to the High Court.]

KITTO J: [456] The main problem in this case arises not from any uncertainty of language in the document headed "contract of sale" but from the omission of the parties to reach a concluded agreement upon the matter to which Special Condition 5 is addressed. The clause contains a so called covenant by the purchaser that immediately upon taking possession of the subject land he will grant a lease of a portion of the land to the Shell Co of Australia Ltd. The portion is defined as that which "is used" (that is, at the date of the document) for the sale of petroleum, oils and greases and petroleum products of the Shell Co. I am prepared to assume that the vendor is right in saying, as he does, that this description is sufficient to enable the portion to be identified. As regards the term of the lease, it sufficiently appears, I think, that the commencing date is to be the date when the purchaser obtains possession. But upon no other topic does the document indicate what the provisions of the lease are to be. It does say that the lease is to be granted "upon such reasonable terms as commonly govern such a lease", and that would have been enough if evidence had established that for such a lease an ascertainable set of reasonable terms are in common use. But this has not been established, and the result is that the document does not record a consensus ad idem as to the duration of the term, the rent, or anything else except the commencing date and the premises intended to be let. Provision is indeed made for arbitration in the event of any dispute between the parties "as to the interpretation or operation of this clause", and I should have understood this as extending to any dispute as to what terms are reasonable and commonly govern such a lease, if in fact any such terms had existed. But it clearly would not authorise an arbitrator to force upon the purchaser such terms as he (the arbitrator) might think are reasonable and ought [457] commonly to govern such a lease, for to do so would be to alter the contract.

The problem to which I have referred as the main problem is whether the fact that Special Condition 5 is, for this reason, of no contractual effect carries the consequence that the whole document is in like case, or whether, on the other hand, the provisions of the document apart from Special Condition 5 constitute by themselves a concluded contract from which that condition is properly to be considered

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a separate and severable provision … It is therefore clear on the face of the document that the parties had no intention of agreeing upon a sale which would entitle the purchaser to receive vacant possession without having to grant any lease to the Shell Co; and it follows that to treat the "contract" as binding although shorn of Special Condition 5 would be to turn the sale into a different sort of sale from that which the parties contemplated. Courts are of course anxious to hold parties to what they have agreed upon, but there can be no justification for holding them to something they have not agreed upon. In my opinion the decision of the Full Court of the Supreme Court that no concluded contract of sale was made between the parties is correct; and as it is agreed that if that be so the purchaser is entitled to recover the moneys he paid to the vendor under the supposed contract the Full Court's order that judgment be entered for the purchaser on his claim should be affirmed …

[6.60] TAYLOR, MENZIES AND OWEN JJ: [460] The first question to be considered is whether the contention that Special Condition 5 is uncertain should be upheld. The appellant asserts that it should not and that, in effect, that clause simply provides that in the event of there being no agreement as to the terms of the contemplated lease, including both the period during which it is to subsist and the rent to be paid, the parties shall enter into a lease in the form settled by an arbitrator. Of course, if this were so the basis for the contention that the clause is uncertain would disappear. But the language of the clause does not permit of this view. The lease is to be "upon such reasonable terms as commonly govern such a lease" and in the event of a dispute "as to the interpretation or operation" of the clause the dispute is to be referred to arbitration. We are firmly of opinion that the expression "upon such reasonable terms as govern such a lease" is not, in the context in which it appears, apt to refer to either the period for which the contemplated lease is to subsist or to the rent to be payable thereunder. Nor do we think that the further expression "as to the interpretation or operation" of this clause covers a dispute as to either of those matters. We, therefore, are of opinion that the clause is uncertain in that it neither specifies [461] nor provides a means for the determination as between the parties of the period for which the contemplated lease shall be granted or the rent which shall be payable thereunder.

It, therefore, becomes necessary to determine whether the condition is severable from the rest of the provisions of the contract or whether the whole contract falls. On this point the learned judge of first instance after referring to the observations of Knox CJ in *Life Insurance Co of Australia Ltd v Phillips* (1925) 36 CLR 60, and to *Fitzgerald v Masters* (1956) 95 CLR 420, held that the condition was of such a quality that it could be ignored. But those cases and *Nicolene Ltd v Simmonds* [1953] 1 QB 543, to which also he made a reference, are simply particular examples of conclusions reached by the application of a general principle. That general principle is stated by Knox CJ in the first-mentioned case (at 472):

> When a contract contains a number of stipulations one of which is void for uncertainty, the question whether the whole contract is void depends on the intention of the parties to be gathered from the instrument as a whole. If the contract be divisible, the part which is void may be separated from the rest and does not affect its validity.

Observations in the same case make it clear that in seeking to ascertain the intention of the parties to a written contract extrinsic evidence may not be resorted to except where such evidence may be called in aid in the interpretation of the written instrument. Clearly enough, it seems to us, it is not to the point to make an independent examination of extrinsic facts, even if they were within the knowledge of both parties, and upon such evidence to conclude that a particular provision was or was not of importance to them or to either of them; the question for determination is the intention of the parties as disclosed by the contract into which they have entered … Of course, cases may arise where a vague, uncertain or meaningless clause in a contract may simply be ignored … But Special Condition 5 does not fall into any such category; nor can it be said to be a clause inserted solely for the benefit of one of the parties and capable of being waived by him. It is, in a sense, [462] definitive of the ultimate rights which it is contemplated the purchaser is to get under his contract. The clause provides that the respondent will *immediately upon taking possession* grant a lease the effect of which

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will be to deprive him of possession of part of the land in return for a promise to pay rent. Of course, the Shell Co is in no way obliged to take a lease but it is clear enough from the terms of the contract that it was contemplated that it would. The case is, perhaps, not as clear as the case where a contract for the sale of land is entered into with a reservation to the vendor of an unspecified part … The case more closely resembles *Duggan v Barnes* [1923] VLR 27, where A agreed to sell land to B for a stated price and B undertook to grant a lease to any person who should purchase A's business. There the court had no difficulty in holding that B's undertaking was a material and inseverable part of the considerations for A's promises. In our view the same conclusion must be reached in this case and the fact that here it is the purchaser, and not the vendor, who is asserting the invalidity of the contract is of no consequence. In our opinion the appellant's appeal should be dismissed …

[McTIERNAN J dissented.]

Appeal dismissed.

Hall v Busst

[6.65] *Hall v Busst* (1960) 104 CLR 206 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: In 1949, Hall purchased from Busst land comprising Bedarra Island, a small island off the coast of Queensland, along with all chattels on the island. The purchase price was £3,157 4s 0d. Under the terms of the contract, Hall agreed not to resell the land without obtaining Busst's consent first. The contract provided that, on the giving of notice of a proposed sale, Busst would have an option to repurchase the land. Clause 5 provided that:

> The purchase price relating to such option shall be the sum of £3 157 4s 0d to which shall be added the value of all additions and improvements to the said property since date of purchase by the grantor … and from which shall be subtracted the value of all deficiencies in chattel property and a reasonable sum to cover depreciation of all buildings and other property on the land.

In 1957, Hall sold the land and chattels to a third party for £8,500 without giving notice to Busst. Busst sought damages for breach of contract. The Supreme Court of Queensland held that Busst was entitled to damages. The High Court (Dixon CJ, Fullagar and Menzies JJ; Kitto and Windeyer JJ dissenting) held that the option was not enforceable because the price was uncertain.]

DIXON CJ: [216] Of course there is no difficulty about the money sum stated. But that is merely the return of the original price paid by the defendant as purchaser. The point lies in what is added. It is in effect the payment or recompense to the defendant in respect of her work and expenditure in the meantime. The addition is to consist of the value of all additions and improvements to the property since her purchase of the island less the value of all deficiencies of chattel property and a reasonable sum to cover depreciation of all buildings and other property …. "[T]he value of all additions and improvements" is not, in my opinion, sufficiently certain to give rise to an enforceable contract. There could be no external standard of value of additions and improvements to the island: no standard yielding a figure reasonably fixed or ascertainable. Still less would it be possible to find an external standard for the reasonable sum to cover depreciation even if one knew what "other property" is referred to. And indeed the value of deficiencies is another uncertain element in the ascertainment of the price. It is said that "value" or "fair value" is to be found objectively by a jury. But here we are dealing with substantive rights, not the procedure by which they are enforced. Can it be supposed that men contract to pay a price if and when fixed by a jury in a law suit? I am aware that it is said … that it is enough if a contract for the sale of land stipulates expressly or impliedly that the price shall be the fair value … But that could only be when a recognized value or standard of value measuring the

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price existed. It would be, so it seems to me, as absurd to [217] apply this to an island off the coast of Queensland as it would be to apply it to a great modern city building. In any case it is not a price consisting of the fair value of land that we are dealing with.

In my opinion the price described in cl 5 is unascertained and is too uncertain to be the basis of an enforceable contract. The option is therefore unenforceable.

[6.70] FULLAGAR J: [222] So far as contracts for the sale of goods are concerned, there may or may not be a general rule, applicable in respect of executory, as distinct from executed, contracts, that, where the price is not otherwise determined, a promise to pay a reasonable price is to be implied … But such a rule, if it exists, is anomalous. The contract contemplated here is not a contract for the sale of goods: it is a contract for the sale of "land and improvements". In such a case there cannot, I think, be held to be a binding contract unless the three essential elements are the subject of concluded agreement. The three essential elements are the parties, the subject matter and the price. If, but only if, these are fixed with certainty, the law will supply the rest. When it is said that the price must be fixed with certainty, it is not, of course, meant that it must be fixed at a specified figure. It will be sufficient if the sale is expressed to be for a price or value to be fixed by a named or described person. In such a case, if the named or described person dies or cannot or will not fix the price or value, the contract cannot, as a general rule, be enforced, but, if and when he does fix the price or value, there is a concluded contract. If, however, the parties are silent as to the price, there can be no implication of a term that a reasonable price is to be paid. And it is not, in my opinion sufficient, if the sale is expressed to be "for the value of the land" or "for the fair value of the land" or "for a reasonable price".

[6.75] WINDEYER J (dissenting): [240] The concepts of a reasonable price for goods sold, and of reasonable remuneration for services rendered, and indeed of contractual stipulations, express or implied, for reasonable time and reasonable notice, and also the right to a reasonable compensation for the use and occupation of land are all the products of similar developments. And all originally met with the same objections. In the argument before us an attempt was made to found something upon one distinction between sales of goods and sales of land. In a contract for the sale of goods, if there be no price fixed, the law provides that the buyer must pay a reasonable price. It is said that it is to be inferred that this was the intention of the parties. There is no similar rule in the case of a sale of land. If nothing be expressly stipulated as to the price there can be no concluded contract for the sale of land …. But once admit, as English law does but the Civil law does not, that there is such a thing as a reasonable price then it seems to me that in our law the distinction between sales of lands and of chattels is not that an effective agreement can be made to sell a chattel for a reasonable price but an effective agreement to sell land cannot. It is, rather, that if persons would contract to sell land for a reasonable price they must do so expressly; whereas on a sale of chattels an obligation to pay a reasonable price is imposed by law when the parties are silent as to price. But surely the parties to a transaction concerning land can make an express agreement in the terms that in a sale of goods the law can infer that they made? And it is by such an inference or implication of what the parties intended should be the terms of their arrangement that the common law arrived at its [241] rule in the case of chattels. The conclusion that seems to be warranted by logic is, I think, confirmed by history ….

[245] When parties agree to sell for a reasonable price or at a fair valuation they do not leave an essential term of their bargain for further agreement, so that their agreement is incomplete. It is complete. They have fixed the price by a measure that the law knows. If they disagree as to what sum of money fills that measure, a court will determine it, at common law by a jury … To sum up my opinion: The parties executed the deed intending it to be legally binding. They changed their positions in the belief that it was. They expressed their intention in language that was sufficiently certain to create legal obligations. For these reasons … the provisions of cl 5 of the deed for ascertaining the price payable if the option were exercised are valid.

Appeal allowed.

Agreements to negotiate

United Group Rail Services Ltd v Rail Corporation NSW

[6.80] *United Group Rail Services Limited v Rail Corporation New South Wales* [2009] NSWCA 177; (2009) 74 NSWLR 618 (Supreme Court of New South Wales Court of Appeal) – Appeal from the decision of Rein J.

[FACTS: United entered into two contracts with Railcorp under which United agreed to design and build new rolling stock. The contract contained a long and detailed clause setting out the process to be followed in the event of a dispute arising between the parties. The process was to be initiated by service of a notice of dispute and then involved expert adjudication, negotiation, mediation and arbitration. United sought to avoid the dispute resolution procedure and proceed straight to litigation but could only do so if the dispute resolution clause was void for uncertainty. The primary judge held that it was not. The critical provision was cl 35.11, which was as follows:

35.11 Negotiation

If:

(a) a notice of appeal is given in accordance with Clause 35.9; or

(b) the dispute or difference for which the notice under Clause 35.1 has been given does not relate to a Direction of the Principal's Representative under one of the Clauses referred to in Attachment "A", the dispute or difference is to be referred to a senior representative of each of the Principal and Contractor who must:

(c) meet and undertake genuine and good faith negotiations with a view to resolving the dispute or difference; and

(d) if they cannot resolve the dispute or difference within 14 days after the giving of the notice under Clause 35.1 or 35.9 (whichever is later), the matter at issue will be referred to the Australian Dispute Centre for mediation.]

ALLSOP P:

The issues

[6.85] [21] United … asserted (and Railcorp denied) that subcl 35.11(c) was … uncertain and therefore void and unenforceable.

[22] Most importantly, United asserted (and Railcorp denied) that cl 35.12 (providing for the reference to arbitration) was not severable from cl 35.11, such that in circumstances where subcl 35.11(d) or subcl 35.11(c) and (d) was or were void and unenforceable, cl 35.12 was likewise void and unenforceable. The result of this argument, if it were accepted, would be that any dispute will be justiciable in Court, where the power to send any dispute to a referee would be available. The consequences and commercial relevance of success of United's arguments were not explored.

Subclause 35.11(c) and good faith negotiations

[6.100] [28] The obligation on the parties in subcl 35.11(c) is to refer the dispute or difference to a senior representative of each party (a category of employee, agent or officer which no one said was uncertain). Those persons must meet and undertake negotiations. The qualification is that negotiations must be "genuine and good faith negotiations". …

[29] The status of a clause purporting in terms to create a legal obligation to negotiate or to negotiate in a particular way, such as here – genuinely and in good faith and, in particular, whether such a clause is intended to be legally binding, and, if so whether it has a sufficiently certain content to be enforceable has been the subject of some debate in the common law world for some time.

History of the authorities

[6.105] [30] At a time when the common law of England, to a significant degree, determined the common law in Australia (see for example: *Public Transport Commission of NSW v J Murray-More (NSW) Pty Limited* (1975) 132 CLR 336, 341 and 349 and the *Judiciary Act 1903* (Cth), s 80 (before its

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amendment in 1988 by the *Law and Justice Legislation Amendment Act 1988* (Cth), s 41)) the views of the English Court of Appeal and the House of Lords were often decisive. This is not now the case, and has not been at least since 1986: *Cook v Cook* (1986) 162 CLR 376, 389-390 and the *Australia Acts 1986* (Cth) and (UK). Foreign (including English) precedents are useful to the degree of persuasiveness of their reasoning.

[31] In 1932, in *Hillas & Co Limited v Arcos Limited* [1932] All ER Rep 494 at 505-507, Lord Wright expressed the view that a contract to negotiate was enforceable, saying (at 505 and 39-40):

> There is then no bargain except to negotiate, and negotiations may be fruitless and end without any contract ensuing; yet even then in strict theory, there is a contract (if there is good consideration) to negotiate, though in the event of repudiation by one party the damages may be nominal, unless a jury think that the opportunity to negotiate was of some appreciable value to the injured party.

[33] In 1975, Lord Denning MR and Lord Diplock in *Courtney & Fairbairn Ltd v Tolaini Brothers (Hotels) Ltd* [1975] 1 WLR 297, in extempore judgments, expressed their blunt and forceful views that Lord Wright was wrong in *Hillas v Arcos*.

[38] In July 1991, the New South Wales Court of Appeal delivered judgment in *Coal Cliff Colieries Pty Ltd v Sijehama Pty Ltd* (1991) 24 NSWLR 1. The case concerned a heads of agreement about a proposed joint venture for a new coal mine on the south coast of New South Wales. The heads of agreement outlined the basis of the proposal for the development of the joint venture and the coal mine. The heads of agreement commenced with the following statement:

> This document will serve to record the terms and conditions subject to and upon which Coal Cliff Collieries Pty Ltd, Sijehama and Bulli Main agree to associate themselves in an unincorporated joint venture … *The parties will forthwith proceed in good faith to consult together upon the formulation of a more comprehensive and detailed Joint Venture Agreement (and any associated agreements) which when approved and executed will take the place of these Heads of Agreement, but the action of the parties in so consulting and in negotiating on fresh or additional terms shall not in the meantime in any way prejudice the full and binding effect of what is now agreed*. (emphasis added)

[39] Negotiations took place. Numerous drafts of the proposed joint venture were prepared, without agreement; further drafts of heads of agreement were prepared, again with no agreement. Negotiations of some intensity lasted 16 months. Thereafter, negotiations continued less intensively for some years until one party withdrew from the negotiations.

[40] Kirby P, in discussing the principles of contract formation and agreements to negotiate, referred (at 21-22) to the considerable American academic discussion dealing with negotiation in good faith. As Kirby P noted, that discussion revealed a divergence of opinion about the proper role of the law in the enforcement of contracts to negotiate. Kirby P recognised that the courts will not enforce an agreement to agree: *Booker Industries Pty Ltd v Wilson Parking (Qld) Pty Ltd* (1982) 149 CLR 600, 604. His Honour referred to the rejection by the English Court of Appeal in *Courtney* of the "flirtation" by Lord Wright in *Hillas v Arcos*; to the following of *Courtney* in *Mallozzi v Carapelli* and to the other considerations including those attending the development of American law. His Honour expressed the view that if parties have bound themselves expressly to negotiate in good faith they should be held to it, if circumstances otherwise did not reveal a lack of intention to contract or the circumstances revealed no lack of certainty of content. Kirby P said at 26:

> … I do not share the opinion of the English Court of Appeal that no promise to negotiate in good faith would ever be enforced by a court. I reject the notion that such a contract is unknown to the law, whatever its term [sic: terms]. I agree with Lord Wright's speech in *Hillas* that, provided there was consideration for the promise, in some circumstance a promise to negotiate in good faith will be enforceable, depending upon its precise terms. Likewise I agree with Pain J in *Donwin* that, so long as the promise is clear and part of an undoubted

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> agreement between the parties, the courts will not adopt a general principle that relief for the breach of such promise must be withheld.

[44] In the contract before the Court in *Coal Cliff*, Kirby P was of the view that the promise in the heads of agreement was too vague, illusory, and uncertain to be enforceable. The essential reasoning of his Honour was expressed succinctly at 27 as follows:

> The review of the considerations which lead me to this conclusion has already been stated. This was not a case where an external arbitrator was nominated to resolve outstanding differences. There were many such differences at the time of the heads of agreement and a number remain even three years later when negotiations were finally broken off. A court would be extremely ill-equipped to fill the remaining blank spaces and to resolve questions which three years of painful negotiation between the solicitors for the parties had failed to remove. A court could not, in this case, appeal to objective standards or to its own experience — as it might in filling a blank space in a lease of domestic premises or a contract less complex and more familiar than one for a major mining development. At stake are commercial decisions involving adjustments which would contemplate binding the parties for years and deciding issues that lie well beyond the expertise of a court. How mining executives, attending to the interests of their corporation and its shareholders might act in negotiating such a complex transaction is quite unknowable. Therefore, although I agree with Clarke J that some contracts to negotiate in good faith may be enforced by our law, this was not such a contract. I repeat the caution which I have expressed elsewhere (as I did in *Biotechnology Australia Pty Ltd v Pace*) that courts should hold back from giving effect to arrangements which the parties have not concluded, at least in circumstances such as the present. …

[45] Handley JA approached the matter quite differently to Kirby P. His Honour saw an agreement to negotiate in good faith as necessarily illusory, saying at 41-42:

> …
>
> Parties negotiating for a contract are free to pursue their own interests as they see fit. Within broad limits each is under no legal duty to consider the interests of the other. …
>
> Negotiations are conducted at the discretion of the parties. They may withdraw or continue; accept, counter offer or reject; compromise or refuse, trade-off concessions on one matter for gains on another and be as unwilling, willing or anxious and as fast or as slow as they think fit.
>
> To my mind these considerations demonstrate that a promise to negotiate in good faith is illusory and therefore cannot be binding.

[47] Waddell AJA agreed "generally" with the reasons of Kirby P.

[48] Five months after *Coal Cliff* was handed down, argument took place in the House of Lords in *Walford v Miles* [1992] 2 AC 128. Judgment in *Walford v Miles* was delivered in January 1992. The case concerned a so-called "lock out" agreement in which one party agreed to terminate negotiations with a third party in return for a promise by the other to continue negotiations and that that comprised a completed collateral agreement to another agreement that was "subject to contract" Lord Ackner delivered the leading speech with which Lord Keith of Kinkel, Lord Goff of Chieveley, Lord Jauncey of Tullichettle and Lord Browne-Wilkinson agreed. Lord Ackner … said at 138:

> … The reason why an agreement to negotiate, like an agreement to agree, is unenforceable is simply because it lacks the necessary certainty. … This uncertainty is demonstrated in the instant case by the provision which it is said has to be implied in the agreement for the determination of the negotiations. How can a court be expected to decide whether, subjectively, a proper reason existed for the termination of negotiations? The answer suggested depends upon whether the negotiations have been determined "in good faith". However, the concept of a duty to carry on negotiations in good faith is inherently repugnant

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> to the adversarial position of the parties when involved in negotiations. Each party to the negotiations is entitled to pursue his (or her) own interest, so long as he avoids making misrepresentations. To advance that interest he must be entitled, if he thinks it appropriate, to threaten to withdraw from further negotiations or to withdraw in fact in the hope that the opposite party may seek to reopen the negotiations by offering him improved terms. Mr Naughton, of course, accepts that the agreement upon which he relies does not contain a duty to complete the negotiations. But that still leaves the vital question — how is a vendor ever to know that he is entitled to withdraw from further negotiations? How is the court to police such an "agreement"? A duty to negotiate in good faith is as unworkable in practice as it is inherently inconsistent with the position of a negotiating party. It is here that the uncertainty lies. In my judgment, while negotiations are in existence either party is entitled to withdraw from these negotiations, at any time and for any reason. There can be thus no obligation to continue to negotiate until there is a "proper reason" to withdraw. Accordingly, a bare agreement to negotiate has no legal content.

Coal Cliff was not referred to.

Consideration of the proper approach

[6.110] [56] Before turning to the terms of the clause in question, given the juristic debate that has taken place about agreements to negotiate in good faith, it is helpful to begin with some essential propositions founded on accepted authority and principle. First, an agreement to agree is incomplete, lacking essential terms: *Booker* at 604. (That is not a question of uncertainty or vagueness, but the absence of essential terms.)

[57] Secondly, the task of the Court is to give effect to business contracts where there is a meaning capable of being ascribed to a word or phrase or term or contract, ambiguity not being vagueness: *Upper Hunter County District Council v Australian Chilling and Freezing Co Limited* (1968) 118 CLR 429, 436-437; *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd* [1975] AC 154, 167; *Meehan v Jones* (1982) 149 CLR 571, 589; and *Trawl Industries* at 332. (The commercial law should foster and support commercial practice, not fight it: see Devlin J writing extracurially "The Relation Between Commercial Law and Commercial Practice" (1951) 14 *Modern Law Review* 249.)

[58] Thirdly, good faith is not a concept foreign to the common law, the law merchant or businessmen and women. It has been an underlying concept in the law merchant for centuries … It is recognised as part of the law of performance of contracts in numerous sophisticated commercial jurisdictions: for example *Uniform Commercial Code* ss 1-201 and 1-203 (1977) … UNIDROIT Principles of International Commercial Contracts (2004 Ed, Rome 2004) Art 1.7; R Zimmerman and S Whittaker *Good Faith in European Contract Law* (CUP 2000). It has been recognised by this Court to be part of the law of performance of contracts: *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234, 263-270; *Hughes Bros Pty Ltd v Trustees of the Roman Catholic Church for the Archdiocese of Sydney* (1993) 31 NSWLR 91; *Burger King Corporation v Hungry Jack's Pty Ltd* at 565-574 [141]-[187]; and *Alcatel Australia Ltd v Scarcella* at 363-369. In *Alcatel* Sheller JA (with the express and unqualified agreement of Powell JA and Beazley JA) said the following at 369:

> The decisions in *Renard Constructions* and *Hughes Bros* mean that in New South Wales a duty of good faith, both in performing obligations and exercising rights, may by implication be imposed upon parties as part of a contract. There is no reason why such a duty should not be implied as part of this lease.

[60] It is fair to say that caution (in some cases a lack of enthusiasm) has been expressed by some, for example: *Royal Botanic Gardens and Domain Trust v South Sydney City Council* [2002] HCA 5; (2002) 240 CLR 4 [88] and [155] … *Service Station Association Ltd v Berg Bennett & Associates Pty Ltd* (1993) 45 FCR 84 at 91-98 … *Esso Australia Resources Pty Ltd v Southern Pacific Petroleum NL* [2005] VSCA 228 …

[61] Whilst this necessarily incomplete review of authorities reveals that the law in Australia is not settled as to the place of good faith in the law of contracts, this Court should work from the position

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that it has said on at least three occasions (not including *Renard*) that good faith, in some degree or to some extent, is part of the law of performance of contracts. It is unnecessary to go beyond this proposition to gain assistance in the construction of this particular clause of this contract. …

[62] Whilst there is some doubt as to the extent of concurrence of Waddell AJA in *Coal Cliff* (see the use of the word "generally"), nevertheless the considered reasons of Kirby P with which Waddell AJA agreed (generally) conform to the general approach taken by the Court in *Hughes*, *Alcatel* and *Burger King* and by the Victorian Court of Appeal in *Con Kallergis*.

[63] Further, in my view, Kirby P's reasons are more persuasive than the competing authority. I say this with the utmost respect to those who have expressed a contrary view and recognising that the issue is one that has produced different expressions of view among great commercial judges on appeal: for example, Lord Wright, Lord Denning, Lord Diplock, Kirby P and Handley JA and among highly experienced commercial judges at first instance in this Court …

[6.115] [64] I turn to the major contrary appellate decisions. In relation to *Courtney*, the reasoning of Lord Denning MR equated an agreement to negotiate with an agreement to agree. The latter is, of course, not enforceable: *Booker* at 604 (Gibbs CJ, Murphy J and Wilson J), as Kirby P recognised in *Coal Cliff*. It does not follow, however, that an agreement to undertake negotiations in good faith fails for the same reason. An agreement to agree to another agreement may be incomplete if it lacks essential terms of the future bargain. An agreement to negotiate, if viewed as an agreement to behave in a particular way may be uncertain, but is not incomplete. The objection that no court could estimate the damages because no one could tell whether the negotiations "would be" successful ignores the availability of damages for the loss of a bargained for valuable commercial opportunity: *Chaplin v Hicks* [1911] 2 KB 786; *Sellars v Adelaide Petroleum NL* (1994) 179 CLR 332 at 349 ff. The relevant question is whether the clause has certain content.

[65] Nor, with respect, do I find the views of Lord Ackner in *Walford v Miles* persuasive. An obligation to undertake discussions about a subject in an honest and genuine attempt to reach an identified result is not incomplete. It may be referable to a standard concerned with conduct assessed by subjective standards, but that does not make the standard or compliance with the standard impossible of assessment. Honesty is such a standard: cf *Royal Brunei Airlines Sdn Bhd v Tan* [1995] 2 AC 378 and *Twinsectra Ltd v Yardley* [2002] 2 AC 164. Whether it is capable of assessment depends on whether there is a standard of behaviour that is capable of having legal content. Asserting its uncertainty does not answer the question. The assertion that each party has an unfettered right to have regard to any of its own interests on any basis begs the question as to what constraint the party may have imposed on itself by freely entering into a given contract. If what is required by the voluntarily assumed constraint is that a party negotiate honestly and genuinely with a view to resolution of a dispute with fidelity to the bargain, there is no inherent inconsistency with negotiation, so constrained. To say, as Lord Ackner did, that a party is entitled not to continue with, or withdraw from, negotiations at any time and for any reason assumes that there is no relevant constraint on the negotiation or the manner of its conduct by the bargain that has been freely entered into. Here, the restraint is a requirement to meet and engage in genuine and good faith negotiations. For the reasons expressed below that expression has, in the context of this contract, legal content.

[66] Of course, it must be that the certainty and content of any contract will depend on its specific terms and context. Sweeping generalised rules, however, are difficult to sustain and not of great assistance.

[67] In the way I have expressed my understanding of them, I respectfully agree with the statements of principle by Kirby P in *Coal Cliff*. …

[69] It is unnecessary to express any opinion on the facts and the application of principle to the facts in *Coal Cliff*. Suffice it to say that despite the views of such an experienced commercial judge as Clarke J (the trial judge in *Coal Cliff*) that the clause did not lack certainty, there is force in the conclusions of Kirby P, given the open-ended nature of the operation of the obligation in

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that case; although, given the sophistication of the parties and their clearly expressed views, one could view many of the matters referred to by Kirby P as affecting breach or proof of breach, rather than legal content of the contractual obligation. It is also unnecessary to consider, in the abstract, a clause providing for good faith negotiations in bringing about a commercial agreement in the first instance. The concern in the present case is the express mutual promises of the parties to undertake genuine and good faith negotiations to resolve disputes arising from performance of a fixed body of contractual rights and obligations. The difference is of great importance.

[70] What the phrase "good faith" signifies in any particular context and contract will depend on that context and that contract. A number of things, however, can be said as to the place of good faith in the operation of the common law in Australia. The phrase does not, by its terms, necessarily import, or presumptively introduce, notions of fiduciary obligation familiar in equity or the law of trusts. Nor does it necessarily import any notion or requirement to act in the interests of the other party to the contract. The content and context here is a clearly worded dispute resolution clause of an engineering contract. It is to be anticipated at the time of entry into the contract that disputes and differences that may arise will be anchored to a finite body of rights and obligations capable of ascertainment and resolution by the chosen arbitral process (or, indeed, if the parties chose, by the Court). The negotiations (being the course of treaty or discussion) with a view to resolving the dispute will be anticipated not to be open-ended about a myriad of commercial interests to be bargained for from a self-interested perspective (as in *Coal Cliff*). Rather, they will be anticipated to involve or comprise a discussion of rights, entitlements and obligations said by the parties to arise from a finite and fixed legal framework about acts or omissions that will be said to have happened or not happened. The aim of the negotiations will be anticipated to be to resolve a dispute about an existing bargain and its performance. Honest and genuine differences of opinion may attend the parties' views of their rights and obligations. Such things as difficulties of proof and uncertainty as to fact or law may perfectly legitimately strike the parties differently. That accepted, honest business people who approach a dispute about an existing contract will often be able to settle it. This requires an honest and genuine attempt to resolve differences by discussion and, if thought to be reasonable and appropriate, by compromise, in the context of showing a faithfulness and fidelity to the existing bargain.

[6.120] [71] The phrase "genuine and good faith" in cl 35.11 is, as I have said, a composite phrase. It is a phrase concerning an obligation to behave in a particular way in the conduct of an essentially self-interested commercial activity: the negotiation of a resolution of a commercial dispute. Given that context, the content of the phrase involves the notions of honesty and genuineness. Whilst the activity is of a self-interested character, the parties have not left its conduct unconstrained. They have promised to undertake negotiations in a genuine and good faith manner for a limited period (14 days). As a matter of language, the phrase "genuine and good faith" in this context needs little explication: it connotes an honest and genuine approach to the task. This task, rooted as it is in the existing bargain, carries with it an honest and genuine commitment to the bargain (fidelity to the bargain) and to the process of negotiation for the designated purpose.

[72] … The parties have mutually agreed to bring an approach of genuineness and good faith to that process of seeking resolution of any such disagreement. That agreement carried with it, in ordinary language, a requirement to bring an honestly held and genuine belief about their mutual rights and obligations and about the controversy to the negotiations, and to negotiate by reference to such beliefs.

[73] These are not empty obligations; nor do they represent empty rhetoric. An honest and genuine approach to settling a contractual dispute, giving fidelity to the existing bargain, does constrain a party. The constraint arises from the bargain the parties have willingly entered into. It requires the honest and genuine assessment of rights and obligations and it requires that a party negotiate by reference to such. A party, for instance, may well not be entitled to threaten a future breach of contract in order to bargain for a lower settlement sum than it genuinely recognises as due. That would not, in all likelihood, reflect a fidelity to the bargain. A party would not be entitled to pretend to negotiate, having decided not to settle what is recognised to be a good claim, in order to drive the other party into an expensive

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arbitration that it believes the other party cannot afford. If a party recognises, without qualification, that a claim or some material part of it is due, fidelity to the bargain may well require its payment. That, however, is only to say that a party should perform what it knows, without qualification, to be its obligations under a contract. Nothing in cl 35.11 prevents a party, not under such a clear appreciation of its position, from vindicating its position by self-interested discussion as long as it is proceeding by reference to an honest and genuine assessment of its rights and obligations. It is not appropriate to multiply examples. It is sufficient to say that the standard required by the notion of genuineness and good faith within a process of otherwise tactical and self-interested behaviour (negotiation) is rooted in the honest and genuine views of the parties about their existing bargain and the controversy that has arisen in connection with it within the limits of a clause such as cl 35.1.

[74] With respect to those who assert to the contrary, a promise to negotiate (that is to treat and discuss) genuinely and in good faith with a view to resolving claims to entitlement by reference to a known body of rights and obligations, in a manner that respects the respective contractual rights of the parties, giving due allowance for honest and genuinely held views about those pre-existing rights is not vague, illusory or uncertain. It may be comprised of wide notions difficult to falsify. However, a business person, an arbitrator or a judge may well be able to identify some conduct (if it exists) which departs from the contractual norm that the parties have agreed, even if doubt may attend other conduct. If business people are prepared in the exercise of their commercial judgement to constrain themselves by reference to express words that are broad and general, but which have sensible and ascribable meaning, the task of the Court is to give effect to, and not to impede, such solemn express contractual provisions. It may well be that it will be difficult, in any given case, to conclude that a party has not undertaken an honest and genuine attempt to settle a dispute exhibiting a fidelity to the existing bargain. In other cases, however, such a conclusion might be blindingly obvious. Uncertainty of proof, however, does not mean that this is not a real obligation with real content.

[6.125] [78] This is a dispute resolution clause. To require in such a clause this degree of constraint on the positions of the parties reflects developments in dispute resolution generally. The recognition of the important public policy in the interests of the efficient use of public and private resources and the promotion of the private interests of members of the public and the commercial community in the efficient conduct of dispute resolution in litigation, mediation and arbitration in a fair, speedy and cost efficient manner attends all aspects of dispute resolution: cf "just, quick and cheap resolution of the real issues": *Civil Procedure Act 2005* (NSW), s 56. Parties are expected to co-operate with each other in the isolation of real issues for litigation and to deal with each other in litigation in court in a manner requiring co-operation, clarity and disclosure …

[80] The public policy in promoting efficient dispute resolution, especially commercial dispute resolution, requires that, where possible, real and enforceable content be given to clauses such as cll 35.11 and 35.12 to encourage approaches by, and attitudes of, parties conducive to the resolution of disputes without expensive litigation, arbitral or curial.

[81] … In my view, subcl 35.11(c) was not uncertain and had identifiable content.

[Ipp and Macfarlan JJA agreed with Allsop P.]

Appeal dismissed.

[6.140] **Note**

See further Paterson, "The Contract to Negotiate in Good Faith: Recognition and Enforcement" (1996) 10 JCL 120 and Peel, "Agreements to Negotiate in Good Faith" in Burrows and Peel (eds), *Contract Formation and Parties* (2010), p 37.

ILLUSORY PROMISES

Meehan v Jones

[6.145] *Meehan v Jones* (1982) 149 CLR 571 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: By a contract dated 14 March 1979, the *first respondent/vendor* agreed to sell to the *appellant/purchaser* land on which an oil refinery had been built. Special condition 1 provided that:

This contract is executed by the parties subject to the following:

(a) The Purchaser or his nominee entering into a satisfactory agreement or arrangement with Ampol Petroleum Limited for the supply of a satisfactory quantity of crude oil …;
(b) The Purchaser or his nominee receiving approval for finance on satisfactory terms and conditions in an amount sufficient to complete the purchase hereunder;

and should either of the above conditions not be satisfied on or before the 31st day of July 1979 (or such extended time as the parties may agree upon), then this Contract (other than for the provisions of this Clause) shall be null and void and at an end, all moneys paid hereunder by the Purchaser shall be refunded in full.

The vendors claimed the contract was void for uncertainty and entered into a contract on 23 July to sell the land to the second respondent. On 30 July, the purchaser gave notice to the vendors that the purchaser's nominee had made a satisfactory arrangement with Ampol and had arranged finance on satisfactory terms and conditions. The purchaser sought specific performance of the contract. The trial judge and Full Court of the Supreme Court (by majority) refused specific performance on the basis that contract was void for uncertainty. The purchaser appealed to the High Court.]

GIBBS CJ: [575] The most important question on this appeal, and that on which the learned judges of the Full Court of the Supreme Court of Queensland were in disagreement, is whether a contract of sale of land was binding when it included a term which made the contract subject to certain conditions – particularly a condition making it subject to the purchaser or his nominee receiving approval for finance on satisfactory terms and conditions … [576]

The submission advanced on behalf of the vendors and the second respondent was that the inclusion of Special Condition 1 had the result that no binding contract was made between the parties. The submission rested on a number of alternative propositions which may be summarised as follows. First, the word "satisfactory" in both paras (a) and (b) refers to the satisfaction of the vendors as well as to that of the purchaser and the nominee, so that the clause leaves vital matters to be agreed between the parties; accordingly, there is no more than an agreement to agree. Secondly, the language of the [577] clause is so imprecise and indefinite that it is not possible for the court to say what events would satisfy the conditions which are described. Thirdly, the clause leaves it to the discretion of the purchaser whether he will perform the obligations which the contract purports to describe, so that what appears to be a contract is really illusory. It was further said that there was no concluded bargain because the contract left a vital matter to the determination of one of the parties, but in the circumstances of this case that was only another way of saying that the contract was illusory.

The first of these submissions may be dealt with quite shortly … Special Condition 1(a) was plainly inserted in the interest of the purchaser or his nominee, in an endeavour to ensure that if the contract was completed, and the purchaser or his nominee became the owner of the refinery, a sufficient supply of crude oil would be available to enable the refinery to be continued in operation … Special Condition 1(b) is clearly directed to the question whether the terms and conditions of finance supplied are satisfactory from the point of view of the purchaser. This first submission fails; Special Condition 1, on its proper construction, affords it no support.

The second submission raises a question that has given rise to considerable differences of opinion in the cases in which the courts have been called upon to give effect to contracts which are made conditional upon the obtaining of finance or suitable or satisfactory [578] finance. Of course it is

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obvious enough that every such case must depend on the particular words of the contract in question, and that it is not profitable to compare with each other cases decided on different contractual provisions. However, it may be possible to state principles which will provide some guidance through the thicket of decisions.

When the words of a condition state that a contract is subject to finance, the question immediately arises whether the test which is required to be applied is a subjective or an objective one. On the one hand, the contract may be conditional upon the purchaser obtaining finance which he finds sufficient or satisfactory – such finance as he honestly thinks he needs to complete the purchase. On the other hand, the condition may be fulfilled if finance is available which the purchaser ought to find sufficient, or which ought reasonably to satisfy him, even though he honestly, but unreasonably, regards it as insufficient or unsatisfactory. The fact that opinions may differ as to which of these two meanings is given to the words of the clause does not mean that the clause is uncertain. If the court, in construing the contract, can decide which of the two possible meanings is that which the parties intended, there will be no uncertainty …

It is only if the court is unable to put any definite meaning on the contract that it can be said to be uncertain.

If the words of the condition are understood to import a subjective test – if the condition is fulfilled if the purchaser honestly thinks that the finance is satisfactory – it is impossible in my opinion to regard the condition as uncertain. The question whether the purchaser does think the finance satisfactory is a simple question of fact. In most cases it will be a question easily answered; if the purchaser thinks the finance satisfactory, he will normally seek to complete the contract, whereas if he does not think it satisfactory, usually he will not attempt to complete. In any case, whether the purchaser is satisfied is simply a question of fact, because, to use the well known words of Bowen LJ, "the state of a man's mind is as [579] much a fact as the state of his digestion": *Edgington v Fitzmaurice* (1885) 29 Ch D 459, 483. However, if the test is purely subjective, the question will arise whether any binding agreement has been made at all. That is a question which I shall later discuss.

On the other hand, if the test is an objective one, and the question is whether the finance ought reasonably to be regarded as satisfactory, I should not have thought that the clause is too indefinite for the courts to be able to attribute any particular contractual intention to the parties. It is true that the condition may, as Holland J said in *Grime v Bartholomew* [1972] 2 NSWLR 827, 838, be "silent as to amount, term of the loan, rate of interest, conditions of repayment, class of lender, secured or unsecured or form of security". Nevertheless, a court which had evidence of the financial position of the purchaser, the amount required to complete the contract and the prevailing rates and conditions on which loans are made by various classes of lenders should not find it unduly difficult to decide what finance a reasonable man, in the position of the purchaser, would regard as satisfactory.

[His Honour then discussed a number of cases in which similar questions had been raised and continued:]

[580] Other cases have left open the question whether a clause which makes a contract subject to finance imposes an objective standard, so that the test is whether the finance is available on terms that would suit or satisfy a reasonable man, or a subjective standard, so that it is left to the purchaser himself to decide whether the finance is sufficient or satisfactory, and, if that standard is subjective, whether the decision must be made in good faith. However, in Australia and New Zealand the courts, except in New South Wales, have shown a disposition to hold that clauses which make a contract subject to finance are not void for uncertainty. In New South Wales the view has been taken that a subject to finance clause is void, whether it imports an objective or a subjective test: *Moran v Umback* [1966] 1 NSWR 437.

It seems to me that unless a clause of this kind makes a clear indication to the contrary, its natural effect is to leave it to the purchaser to determine whether or not the available finance is suitable to his

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needs. A clause such as Special Condition 1(b), which speaks of "satisfactory terms and conditions", in its natural meaning requires that the purchaser be satisfied … [581] Such a condition is generally entirely for the protection of the purchaser, and it is the satisfaction of the purchaser, not that of some hypothetical reasonable man, that will satisfy the condition. No doubt it may be implied that the purchaser will act honestly in deciding whether or not he is satisfied. However, it does not seem to me necessary, in order to give business efficacy to a contract, that a condition should be implied that the purchaser will make reasonable efforts to obtain finance. The parties may expect that he will, but he does not contract to so do.

Although there is nothing uncertain about a clause which speaks of terms and conditions which satisfy the purchaser, the question nevertheless arises, when a contract is made conditional on such a clause, whether the contract is illusory. There is a well settled general principle which was expressed as follows by Kitto J in *Placer Development Ltd v Commonwealth* (1969) 121 CLR 353, 356:

> wherever words which by themselves constitute a promise are accompanied by words showing that the promisor is to have a discretion or option as to whether he will carry out that which purports to be the promise, the result is that there is no contract on which an action can be brought at all.

… In my opinion that principle does not apply where the discretion or option of the contracting party relates, not to the performance of the contractual obligations themselves, but only to the fulfilment of a condition upon which the contract depends. That this is so is illustrated by the case of an option to purchase which is, in many cases at least, a contract to sell the land upon condition that the grantee gives the notice and does the other things stipulated in the option. Such an option gives the grantee a right, if he performs the stipulated conditions, to become the purchaser. However the fact that the grantee has a discretion as to whether or not he performs those conditions does not render the option illusory. The case of a conditional agreement is analogous. The fact that the condition is one whose performance [582] lies wholly or partly within the power of one of the parties to the contract does not mean that there is no binding contract once the condition is fulfilled. There is a concluded agreement as to the terms of the contract which, if the condition is satisfied, leaves no discretion in either party as to whether he shall carry them out. Once the condition is fulfilled, within the time allowed by the contract for its fulfilment, the contract becomes completely binding.

It is clear that the condition in Special Condition 1(b) is not a condition precedent to contract. Certain obligations under the contract attached immediately the contract was signed although the condition had not been fulfilled. For example, the provisions with regard to the deposit, and with regard to the giving and answering of requisitions on title, became immediately effective. Whether the condition is described as a condition precedent to completion, or as a condition subsequent, seems largely a matter of words. A similar question was discussed in *Perri v Coolangatta Investments Pty Ltd* (1982) 56 ALJR 445. The condition in that case made the sale subject to the purchasers completing a sale of their property. It was within the power of the purchasers to prevent the fulfilment of such a condition; in that respect they had a discretion as to whether they would completely perform the contract. Nevertheless, it was not doubted that a binding contract had been concluded.

For these reasons, Special Condition 1(b) effectively and certainly described a condition on whose fulfilment the obligation to complete the contract depended. The possibility that the satisfaction might be that of the nominee did not introduce an element of uncertainty, for on no view was the satisfaction of the vendors necessary. Once approval was given by any lender for the making of a loan on terms and conditions regarded as satisfactory by the purchaser or his nominee the condition was fulfilled. Thereafter both the vendors and the purchaser were bound to complete.

What I have said in relation to Special Condition 1(b) applies, in substance, to Special Condition 1(a) also. Once the purchaser or his nominee had made with Ampol an agreement or arrangement which the purchaser or his nominee regarded as satisfactory the condition was satisfied and both parties were bound. For these reasons I have concluded that the majority of the Full Court were in

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error in holding that Special Condition 1 was uncertain, or that it left it to the purchaser to decide whether he would proceed with the contract.

Certain other arguments were advanced on behalf of the respondents. These were not accepted in the Supreme Court, and they [583] have been dealt with by my brother Mason in his judgment in this case. In relation to those aspects of the matter I agree with my brother's reasons and need add nothing to them ….

I would allow the appeal.

[6.150] MASON J: [587] It is convenient to examine the validity of Special Condition 1(b) before turning to Special Condition 1(a). In the Full Court it became the critical question.

Special condition 1(b)

The respondents' case rests on three propositions:

(1) a contract which is expressed in language "so obscure and so incapable of any definite or precise meaning that the court is unable to attribute to the parties any particular contractual intention" is void for uncertainty (*G Scammell and Nephew Ltd v Ouston* [1941] AC 251 at 268);

(2) a contract which reserves to a party a discretion or option whether he will carry out what appears to be a promise on his part is also void for uncertainty (*Thorby v Goldberg* (1964) 112 CLR 597 at 605); and

(3) there can be no concluded bargain if a vital matter has been left to the determination of one of the parties: see *Godecke v Kirwan* (1973) 129 CLR 629 at 647 per Gibbs J.

It is argued that the concept of "finance on satisfactory terms and conditions" is altogether too uncertain and indefinite to admit of a precise meaning. The thrust of the argument is that the absence of agreement as to the amount to be borrowed, and perhaps the term of the loan and the rate of interest, make it impossible for a court to decide what finance is contemplated by the contract as being "satisfactory" … This point would have force if the contract left the court at large to assess what is "finance on satisfactory terms and conditions", yielding no indication as to what the parties meant by that expression. But in the context of a contract for the sale and [588] purchase of real estate which contains a condition that the purchaser or his nominee receives approval for such finance so that the deposit is to be refunded to the purchaser if the condition is not satisfied, there can be no doubt that "satisfactory" ordinarily means "satisfactory to the purchaser or his nominee".

Primarily the object of such a clause is to benefit or protect the purchaser by ensuring that he is not under a binding obligation to complete if he is unable to obtain finance. Here there is nothing in the contract or other materials to suggest that the object of the clause was not to protect the purchaser, although there is the question whether the condition is exclusively for his benefit, a matter to be discussed later. The primary object of the condition being the protection of the purchaser, it is sensible to treat it as stipulating for finance that is satisfactory to the purchaser or his nominee, subject to an implied obligation that he will act honestly, or honestly and reasonably, in endeavouring to obtain finance and in deciding whether to accept or reject proposals for finance …

To say that clauses of this kind are void for uncertainty is to ignore the traditional doctrine that courts should be astute to adopt a construction which will preserve the validity of the contract. Moreover, it is a draconian solution – one which is best calculated to frustrate the expectations of the parties, because in an increasing number of cases purchasers depend on the provisions of finance in order to complete. The problems of uncertainty can be avoided by drafting a clause which specifies the details of the finance to be sought, but such a clause, by reason of its greater precision, may be too inflexible in its operation.

It has sometimes been argued that there is a relevant distinction between "subject to satisfactory finance" or "subject to suitable finance" and making the contract "subject to finance". The suggestion is that in the first case it is easier to imply that the finance is to be satisfactory to the purchaser. Even if this be so, I would have no difficulty in reading a "subject to finance" clause as requiring finance

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in an amount and on terms satisfactory to the purchaser, in the absence of some indication that the clause had another meaning.

To say that a "subject to finance" or "subject to finance on satisfactory terms and conditions" clause denotes finance which is satisfactory to the purchaser is not to say that he has an absolute or unfettered right to decide what is satisfactory. To concede such a right would certainly serve the object of the clause in protecting him. But it would do so at the expense of the legitimate expectations of the vendor by enabling the purchaser to escape from the contract on a mere declaration that he could not obtain suitable finance. With some justification the vendor can claim that the agreement made by the parties is not an option but a binding contract which relieves the purchaser from performance only in the event that, acting honestly, or honestly and reasonably, he is unable to obtain suitable finance.

There is in this formulation no element of uncertainty – the courts are quite capable of deciding whether the purchaser is acting honestly and reasonably. The limitation that the purchaser must act honestly, or honestly and reasonably, takes the case out of the principle that:

> where words which by themselves constitute a promise are accompanied by words which show that the promisor is [590] to have a discretion or option as to whether he will carry out that which purports to be the promise, the result is that there is no contract on which an action can be brought.

See *Thorby v Goldberg* (at 605) citing *Loftus v Roberts* (1902) 18 TLR 532 at 534. The judgment of the purchaser as to what constitutes finance on satisfactory terms is not an unfettered discretion – it must be reached honestly, or honestly and reasonably.

It has often been held that, where under a contract the delivery of a ship or of goods is expressed to be subject to the buyer's approval, the buyer may disapprove so long as he acts honestly …

There are cases in which it has been said that a capricious withholding of approval will not do …

In this case it is not necessary to decide whether the purchaser, in [591] deciding whether finance is on satisfactory terms, is bound to act honestly or whether he is also bound to act reasonably. The cases already mentioned appear to support the first rather than the second alternative. And there is some ground for thinking that the parties contemplated that the question was to be left to the honest judgment of the purchaser rather than to the judgment of a court as to whether the purchaser acted reasonably in the circumstances.

On the other hand, it has been said that a condition of this type imports an obligation or promise on the part of the purchaser to act honestly and reasonably: *Barber v Crickett* [1958] NZLR 1057 at 1058; *Scott v Rania* [1966] NZLR 527 at 539 per Hardie Boys J. McCarthy J, who in *Scott v Rania* (at 534) preferred to base his reasoning on the principle that a party to a contract cannot be permitted to rely on his own wrong, later in *Gardner v Gould* [1974] 1 NZLR 426 at 428 adopted the implied promise theory. The reasoning which underlies the decisions of this court upholding the implication of an obligation on the part of a party to a contract to do all that was reasonable on his part to obtain a statutory consent applies with equal force here. In *Butts v O'Dwyer* (1952) 87 CLR 267 at 280, Dixon CJ, Williams, Webb and Kitto JJ said:

> It has been held in cases too numerous to mention both before and after the classic statement of Bowen LJ in the case of *The Moorcock* (1889) 14 PD 64 at 68 that the law raises an implication from the presumed intention of the parties where it is necessary to do so in order to give to the transaction such efficacy as both parties must have intended that it should have.

Here the expressed intention of the parties was that the purchaser would obtain finance; his obtaining of finance on satisfactory terms was necessary to give the transaction its intended efficacy. The consequence would be that he had an obligation to do all that was reasonable on his part to obtain that finance. It would make for greater consistency to say that, if the purchaser is bound to act reasonably in seeking to obtain finance, he is bound to act reasonably as well as honestly in deciding

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whether the finance was satisfactory. So understood the special condition would preserve an even balance between the vendors and the purchaser. However, I have no need to decide the question. Here it makes no difference whether the purchaser was under an obligation to act honestly or honestly and reasonably in deciding whether the terms of an offer of finance were satisfactory.

Although the binding words of the special condition suggest that [592] its effect is to make the existence of the contract conditional, it is more sensible to regard the provision as one which provides for the determination of a valid and binding contract in the event that the purchaser or his nominee is unable to obtain approval for satisfactory finance on or before the appointed date. In accordance with the principle established in *New Zealand Shipping Co v Société des Ateliers et Chantiers de France* [1919] AC 1, and extended in *Suttor v Gundowda Pty Ltd* (1950) 81 CLR 418 at 440–2, each party has the right to avoid the contract on the non-performance of the condition, notwithstanding that non-performance may occur without default on the part of the purchaser, that is, he may fail to procure finance despite every endeavour on his part. I say "each party" because it seems to me that, although the primary object of the condition is to protect the purchaser, it is perhaps difficult to assert that the clause is for his benefit exclusively when it states that the result of non-performance is that the contract shall be null and void, rather than null and void at the option of the purchaser. I see no justification for implying a right of avoidance on the part of the purchaser alone. In other circumstances to make this implication would be to reach a one-sided interpretation, allowing the purchaser to keep the contract on foot, despite non-performance of the condition, but denying the vendor the right to avoid. Here the vendors were protected by the fixing of the date for completion and the making of time of the essence. Even so, there is no adequate basis for concluding that the special condition authorised the purchaser alone to terminate.

Whether the condition is to be described as precedent or subsequent is an artificial and theoretical question. In one sense performance of the condition or non-avoidance for breach of it is precedent to the right of a party to call for the performance of a contract. In another sense there is a valid and binding contract which may be determined for non-performance of the condition, and in this sense the condition is subsequent, not precedent.

For the reasons I have given Special Condition 1(b) is valid.

Special condition 1(a)

The attack on the validity of this condition raises considerations similar to those already examined. "Satisfactory" here again means satisfactory to the purchaser or his nominee in relation to the agreement contemplated and as to quantity, provided of course that the purchaser or his nominee acts honestly and reasonably. I reject the argument that in Special Condition 1(a) satisfactory means "satisfactory to both parties" …

Clauses 1 and 2

[593] The second respondent argues that the deletion of cl 1 and the partial deletion of cl 2 also results in the contract becoming void for uncertainty because there is nothing in the contract to indicate how completion is to occur. The consequence of the deletion is that there is no specific provision in the contract providing for the manner in which the balance of the purchase price is to be paid. The answer to this submission is that the law implies that in the absence of a specific contractual provision the obligations of each of the parties under the contract are to be performed on or before the completion date, 31 August 1979. The general rule is that settlement and the giving of possession are to coincide …

[6.160] MURPHY J: [596] Clauses in contracts of sale which provide that the contract is subject to the purchaser obtaining satisfactory finance, or adaptations such as "subject to satisfactory finance" or "subject to finance", do not render the contracts illusory. The transactions are conditional contracts in the nature of options to purchase. On classical concepts of consideration, the purchaser's consideration is the obligation to pay a deposit or other obligations (even if they are conditional). (See generally Treitel, *Law of Contract*, 5th ed (1979), p 64 et seq.) Such clauses are for the benefit of, and may be

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[597] waived by, the purchaser …. If a purchaser erroneously believes that the finance is available, and so informs the vendor, the principles of estoppel apply.

Such clauses leave satisfaction with the finance to the purchaser's discretion. Implication of the word "honest" as qualifying the satisfaction adds nothing. Also there is no justification for implying that the purchaser must act reasonably. If the parties wish to limit the discretion, they may do so, for example, by providing that certain terms of finance shall be deemed satisfactory. Unless this is done, the discretion is unlimited. Such clauses may also be subjected to special time limits as was done here, the effect of which is that unless the finance is obtained within a certain time, or the purchaser waives, the condition is not fulfilled and the vendor is relieved from the obligation to transfer. It follows that the contract was not void because of special condition 1(b).

The respondents, in this Court, also contended that special condition 1(a) of the contract was void for uncertainty (or, if valid, had not been fulfilled). I accept the Chief Justice's analysis and conclusions on the application of special condition 1(a).

[6.165] WILSON J: [597] I have had the advantage of reading the reasons prepared by Mason J. I agree with his Honour that each of the issues in the appeal should be resolved in favour of the appellant, with the result that there should be an order for specific performance of the contract. There is nothing of substance that I can usefully add to his Honour's reasons, but I wish to make some brief observations.

The first observation relates to the general question whether a purchaser, in deciding whether finance is on satisfactory terms, is bound to act both honestly and reasonably. It is not necessary to decide the question for the purposes of this case because the finance was obtained. It seems to me that the weight of the authorities discussed by his Honour favours the conclusion that, subject always to the construction of the contract in the particular case, the court will imply no greater obligation on the purchaser than that he is obliged to act honestly in determining whether the available finance is satisfactory. I am inclined to think there is force in this view. The clause is there for the protection of the purchaser. [598] Clearly he must make reasonable efforts to secure finance. But the question whether he is able and willing to assume the burden involved in accepting particular terms may well be answered by reference to subjective considerations which cannot readily be the subject of objective assessment as to their reasonableness. The requirement of an honest judgment may be thought to provide the vendor with the maximum protection which is available under the clause. However, it is sufficient for me, like Mason J, to refrain from expressing a concluded view.

[Aickin J died before the judgment was delivered.]

Appeal allowed.

[6.170] **Note**

In *Smith v Pisani* [2001] SASC 21; (2001) 78 SASR 548, a contract for the sale of land was made subject to the purchaser obtaining satisfactory finance. The purchaser applied for and was offered finance on terms that were not unusual or commercially unreasonable, but she refused to complete the contract on the basis that the terms of the finance were not satisfactory to her. Gray J held that the purchaser was obliged to act honestly and reasonably in obtaining finance and in considering proposals for finance. He upheld the magistrate's finding that she had simply changed her mind about buying the vendor's property. The purchaser's refusal to complete the purchase therefore constituted a breach of contract and she was liable for damages.

Godecke v Kirwan

[6.175] *Godecke v Kirwan* (1973) 129 CLR 629 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: The *appellant* (as purchaser) and *respondent* (as vendor) signed a document headed "offer and acceptance" which set out the terms of an agreement for the sale and purchase of land, including the following clauses:

3. Possession shall be given and taken on settlement upon signing and execution of a formal contract of sale within 28 days of acceptance of this offer ….
6. If required by the Vendor/s I/we shall execute a further agreement to be prepared at my costs by his appointed Solicitors containing the foregoing and such other covenants and conditions as they may reasonably require.

The respondent vendor refused to proceed. The appellant purchaser lodged a caveat. The vendor issued a summon seeking removal of the caveat. Virtue J at first instance ordered that the caveat be removed on the basis that the agreement was not binding. Since the agreement contemplated that the formal contract would contain additional terms, it fell within the third class of cases mentioned in *Masters v Cameron* (1954) 91 CLR 353, at [5.80]. The purchaser appealed.]

WALSH J: [642] In the present case the parties set out all the principal terms which were to govern the sale and purchase of the land and these included provisions which imposed by implication an obligation to execute a formal contract. There was also a promise by the purchaser to execute, if required to do so, a further agreement in accordance with cl 6. In my opinion, that clause should be construed as limited to permitting the insertion of covenants and conditions not inconsistent with those contained in the offer. It was limited also by the reference to the reasonableness of requiring the inclusion of the covenants and conditions. In my opinion, this does not mean that anything may be required which in the opinion of the solicitors is reasonable. It means that what is required must be reasonable in an objective sense, and in case of [643] dispute this is a matter which the court can decide. Clause 6 does not mean that the purchaser is making an agreement to agree later upon additional provisions to govern the bargain. It means that he is agreeing presently to accept as part of the bargain such additional provisions, if any, as are required, provided that they satisfy the requirements of consistency with the other terms and of reasonableness to which I have referred.

If, contrary to my view, cl 6 authorizes the vendor to require the execution of a further agreement after the contract contemplated by cl 3 and special condition 1 has been executed, then cl 6 would still operate subject to the limitations already discussed and, in my opinion, the vendor, if he wished to take advantage of it, would have to invoke it within a reasonable time, this again being a matter for decision if necessary by a court. The fact that more than one view may be open as to the time at which and the manner in which cl 6 was intended to operate does not itself require a conclusion that the agreement is void for uncertainty: see *Upper Hunter County District Council v Australian Chilling and Freezing Co Ltd* (1968) 118 CLR 429, 436–7.

For the foregoing reasons I am unable to agree with the view of the learned primary judge that this was a case in which all the terms of the contract had not been settled and which for that reason fell within the third class of the cases discussed in *Masters v Cameron* (1954) 91 CLR 353. I am of opinion that a binding agreement was made.

[6.180] GIBBS J: [645] Clause 6 does not require that the additional terms should be the subject of agreement between the parties. The inclusion of additional terms depends on the unilateral requirement of the solicitors for the vendor, subject to the qualification that the requirement must be reasonable. It is well established that the parties to a contract may leave terms – even essential terms – to be determined by a third person: *Foster v Wheeler* (1888) 38 Ch D 130; *May and Butcher Ltd v The King* [1934] 2 KB 17, at p 21. In such a case the contract is not bad for uncertainty because if the third person settles the terms the contract will thereby be rendered certain. It is no objection that the power to determine the terms and conditions to be incorporated in the contract is left to the solicitors for one of the parties: *Axelsen v O'Brien* (1949) 80 CLR 219 (see also *Suttor v Gundowda Pty Ltd* (1950)

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81 CLR 418, 444–5, and *Christison v Warren* [1903] St R Qd 186). In *Axelsen v O'Brien* (1949) 80 CLR 219 an agreement for the sale of land provided (inter alia) that the vendor should execute a nomination of trustees over the land to trustees [646] appointed by the purchasers and should hand such nomination to the solicitors for the purchasers upon the purchasers paying £500 and upon the trustees executing a bill of mortgage securing payment of the balance of the purchase price. The agreement further provided: "The bill of mortgage shall contain such other terms and conditions as shall be required by Corser Sheldon & Gordon of Maryborough, solicitors, not inconsistent with the above terms." It appears that that firm of solicitors, which consisted of one member only, was acting for the purchasers. It was contended that there was no complete and concluded contract because the further terms of the bill of mortgage remained to be arranged or determined. The Court rejected this contention. Latham CJ pointed out ((1949) 80 CLR 219, 225) that the terms of the bill of mortgage did not depend upon agreement between the parties because it was for the solicitor to settle the terms. The Court further held that the terms of the bill of mortgage were not an essential part of the contract, but merely a subsidiary means of carrying it into effect, and that the failure of the solicitor to settle the terms would not be a bar to specific performance – the Court in granting specific performance would settle the terms if the solicitor did not (1949) 80 CLR 219, 225–6. The same considerations seem to me to be applicable in the present case. The fact that cl 6 left it to the solicitors for the vendor to decide what other covenants and conditions should be included in the "further agreement" did not mean that it was necessary that the parties should agree as to further terms. The clause does not introduce any uncertainty into the agreement, or render it in any way incomplete and would present no obstacle to its specific performance.

I should perhaps make it clear that it does not necessarily follow from what I have said that an agreement which left further terms to be settled by one of the parties, rather than by his solicitors, would be treated as a concluded contract. In *May and Butcher Ltd v The King* [1934] 2 KB 17, 21, Viscount Dunedin suggested that a sale of land which left the price to be settled by the buyer himself would be good. With great respect, it seems to me that there would be no binding contract in such a case, which would fall within the principle that "where words which by themselves constitute a promise are accompanied by words which show that the promisor is to have a discretion or option as to whether he will carry out that which purports to be the promise, the result is that there is [647] no contract on which an action can be brought": *Thorby v Goldberg* (1964) 112 CLR 597, 605, citing *Loftus v Roberts* (1902) 18 TLR 532, 534; *Placer Development Ltd v The Commonwealth* (1969) 121 CLR 353, 359–61. It might be suggested that the same principle would not apply if the determination of the price were left to the seller, for then it would be the promisee, not the promisor, who was left with the discretion as to performance. However, in *Beattie v Fine* [1925] VLR 363, Cussen J drew no such distinction and held that an option for renewal "at a rental to be agreed upon by the lessor" did not give rise to any contractual obligation. He based his decision on the principle of *Loftus v Roberts* (1902) 18 TLR 532, but the same conclusion might have been reached by holding that there can be no concluded bargain if a vital matter (such as price or rental) has been left to the determination of one of the parties (see also the dicta in *Foster v Wheeler* (1888) 38 Ch D 130, at pp 132–3). Perhaps it may be different where agreement has been reached on all essential terms but the determination of subsidiary matters has been left to one of the parties. In *Sweet & Maxwell Ltd v Universal News Services Ltd* [1964] 2 QB 699 it was held by the Court of Appeal that an agreement for a lease which was to contain "such other covenants and conditions as shall be reasonably required" by the lessor was sufficiently certain to be a concluded contract for a lease and was capable of specific performance. In *Powell v Jones* [1968] SASR 394, Bray CJ went further and upheld the validity of an agreement for a lease which was "to be in terms and to contain such special clauses as the landlord may require". His Honour said [1968] SASR 394, 400 that "there is nothing in the *Sweet and Maxwell* Case [1964] 2 QB 699 to indicate that the Court of Appeal would have held the agreement to make the lease unenforceable if the word 'reasonably' had been omitted". I am, with respect unable to agree with that observation, for it seems to me that the members of the Court of Appeal in *Sweet & Maxwell Ltd v Universal News Services Ltd* [1964] 2 QB 699 placed considerable reliance on the fact that the parties had imported the familiar and objective standard of reasonableness – see [1964] 2 QB 699, 726, 733,

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735. However, it is unnecessary to express any concluded opinion on these matters because, as I have said, in the present case the settlement of the further terms is left to the determination of persons who are not parties to the contract. [648] … I hold, therefore, that the Offer and Acceptance constituted a valid and binding contract capable of being enforced by specific performance.

MASON J: I agree with the reasons for judgment prepared by my brother Walsh.

Appeal allowed.

Placer Development v Commonwealth

[6.185] *Placer Development Limited v Commonwealth* (1969) 121 CLR 353 (High Court of Australia).

[FACTS: The *Commonwealth* entered into an agreement with the *plaintiff* for the formation of a company to produce timber products in Papua New Guinea for export to Australia. Clause 14 of the agreement provided:

> 14. If customs duty is paid upon the importation into Australia of the plywood, veneers, logs and other products of the Timber Company, and is not remitted, the Commonwealth will pay to the Timber Company a subsidy upon the exportation of these products from the Territory for entry into Australia of an amount or at a rate determined by the Commonwealth from time to time, but the amount of subsidy paid shall not exceed the amount of customs duty paid and not remitted.

The timber company was formed and for several years imported products into Australia and paid customs duty. For four years, the Commonwealth paid a subsidy equal to the amount of duty paid. Thereafter no subsidy was paid. The parties stated a case for the High Court, asking whether the Commonwealth was obliged by cl 14 to determine a rate of subsidy or to pay a subsidy. The Court, by majority of 3-2 (Kitto, Taylor and Owen JJ; Menzies and Windeyer JJ dissenting), held that it was not.]

KITTO J: Question 3 is whether by virtue of cl 14 the Commonwealth is obliged (again, to the plaintiff company) to pay to the timber company a subsidy which will recoup to the timber company all the customs duty paid by it on the importation of its plywood into Australia and not remitted. Again, the answer must be No. The Commonwealth has plainly retained a right to review and vary the amount or rate of subsidy, and such a reservation, as the Court observed in *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424, 464 "cannot be reconciled with the conception that the Crown has promised to pay a subsidy of definite amount"….

Cases in which a party's liability to make a payment is expressed as depending upon an exercise of discretion by that party have most often been cases of service agreements. The question there is usually whether the intention of the agreement is that the employer shall be entitled to decide whether any remuneration at all shall be paid and if so how much, or is that he shall be bound to pay at all events a reasonable remuneration. In other words, it is whether, on the one hand, the service is intended to be honorary unless the employer otherwise decides, or, on the other hand, a promise to pay a reasonable amount is to be implied. As may be seen from the case of *Bryant v Flight* (1839) 5 M & W 114; 151 ER 49, in which Parke B dissented from the decision of the Court, it is not always an easy question to decide; but the general principle is established which Vaughan Williams LJ in *Loftus v Roberts* (1902) 18 TLR 532, 534, expressed in words that were subsequently adopted by Lord Wrenbury, as Buckley J, in *Broome v Speak* [1903] 1 Ch 586, 599. It is that wherever words which by themselves constitute a promise are accompanied by words showing that the promisor is to have a discretion or option as to whether he will carry out that which purports to be the promise, the result is that there is no contract on which an action can be brought at all. The succinct statement

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of the principle in *Leake on Contracts*, 3rd ed, p 3: "Promissory expressions reserving an option as to the performance do not create a contract" was approved by the Lord Justice, as it was later by Lord Wright in *Hillas and Co Ltd v Arcos Ltd* (1932) 147 LT 503, 517 ….

A promise of a governmental subsidy is meaningless in the absence of a specification of some amount or some basis of calculation. It carries no implication that at least a reasonable subsidy shall be paid, for there is no general standard of reasonableness with respect to the quantum of a subsidy. The expression in cl 14 of the Agreement before us, "a subsidy … of an amount or at a rate determined by the Commonwealth from time to time", indeed reflects the fact that a governmental or legislative determination of quantum is of the essence of a subsidy. The Commonwealth's promise is, in substance, a promise to pay such subsidy if any as may be decided upon from time to time by or under the authority of the appropriate repository of Commonwealth power, namely the Parliament. It therefore does not create any contractual obligation.

[6.190] TAYLOR AND OWEN JJ: [361] Obviously there is a complete absence from the clause, and from the Agreement as a whole, of any identifiable criteria by which it can be said the parties intended the amounts or rates to be determined; this is left solely to the discretion of the Commonwealth. This being so the clause amounts to no more than a promise to pay what, in all the circumstances, the Commonwealth in its discretion thinks fit and, as such, is wholly unenforceable.

[6.195] MENZIES J: (dissenting) [363] The language is plainly that of legal obligation. The conditions giving rise to obligation upon the Commonwealth are precisely stated; it is provided that "the Commonwealth will pay … a subsidy … of an amount or at a rate determined by the Commonwealth from time to time"; and an upper limit to the subsidy is fixed.

It appears to me that two interpretations of the clause are open. First that it creates no legal obligation at all because what it provides is an illusory promise on the part of the Commonwealth. The second is that it does create an obligation when the conditions stated are fulfilled (1) to determine a subsidy within the limit and (2) to pay the subsidy determined.

According to the former interpretation, if the Commonwealth were to determine a subsidy upon imported products it would still be under no obligation to pay the subsidy so determined; according to the latter the Commonwealth's obligation is both to determine what the subsidy is to be and then to pay it.

The latter interpretation is the one which commends itself to me. It is true that the Commonwealth is at large in determining the subsidy from time to time but it seems to me that the character of the provision would have been no different had it gone on to require the Commonwealth to take specified considerations into account in determining the subsidy. In such a case the form and [364] amount of the subsidy would still be in the discretion of the Commonwealth. The essential question seems to me to be whether a promise to make a determination does, in the circumstances, give rise to an obligation to do so.

There are, of course, cases such as *Taylor v Brewer* (1813) 1 M & S 290; 105 ER 108 and *Roberts v Smith* (1859) 4 H & N 315; 157 ER 861, where promises have been regarded as too illusory to support proceedings. These cases are, however, distinguishable. In the former the plaintiff, who had no more than a resolution "that any service to be rendered by him should be taken into consideration, and such remuneration be made as should be deemed right", failed in assumpsit to recover compensation for work done because, it was held, that the resolution imported that the committee were to judge whether any remuneration was due. In the latter, in an action for work and labour done, the plaintiff failed because he had agreed that any work which he did in the circumstances which occurred should give him no right to salary and that in such an event it should be left entirely to the other party to give such sum as he may deem right as compensation for labour done. The decision of the court was no more than that the plaintiff had failed to make out that the defendant was indebted to him. Furthermore, to refuse to accord any legal consequence to cl 14 would seem to me to be flatly opposed to *Bryant v Flight* (1839) 5 M & W 114; 151 ER 49, where Abinger CB and Alderson B – true it

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is against the dissent of Parke B – decided that money was recoverable under the following promise: "I hereby agree to enter your service as a weekly manager, commencing next Monday, and the amount of payment I am to receive I leave entirely for you to determine."

In my opinion, however, the questions which we have to determine are not to be decided by reference to authorities such as those referred to above. What we are concerned with is the meaning of cl 14 in the context of the whole Agreement. To my mind the clause does require the Commonwealth to fix a subsidy and then to pay the subsidy fixed. Here we are not concerned with whether the Commonwealth is under any obligation to pay money in the absence of a determination fixing it and I would not, of course, decide that if the Commonwealth did not fix a subsidy that a reasonable subsidy, or indeed any subsidy, became payable. Where, however, the question is whether cl 14 does impose a contractual duty upon the Commonwealth to fix a subsidy in the [365] circumstances stated so that the obligation to pay would thus arise, the problem is substantially one of interpretation and, in my opinion, the answer should be "Yes". I cannot understand the parties, at the time of making the Agreement, attributing any different meaning to it. Nor, either on principle or authority, is it necessary to decide the clause as so understood is illusory. I do not regard a promise by the Commonwealth to determine a subsidy, not exceeding a specified amount, if and when certain events occur, as illusory. The whole point of the clause is to require the Commonwealth to determine what subsidy it will pay in the circumstances stated. When the language of legal obligation has been used, as is the case here, it is only stern necessity that would persuade me that it is worthless. Neither in principle nor in authority do I find that necessity. If the right to obtain a discretionary determination were illusory there would be a substantial reduction in the use of the writ of mandamus. To my mind the promise of the Commonwealth to determine what subsidy should be paid was both significant and valuable and was not a mockery.

[6.200] WINDEYER J: (dissenting) The New Guinea Timber Agreement was expressly made subject to the approval of Parliament …. This statutory approval of the Agreement … [366] disposes, I think, of any idea that the Agreement was not intended by the parties to create a relationship giving rise to obligations enforceable by law.

That such an intention is of the essence of a valid contract has been asserted in English cases for a long time past, certainly since Lord Atkin, then Atkin LJ, said so in *Balfour v Balfour* [1919] 2 KB 571, 578, and in *Rose and Frank Co v JR Crompton and Bros Ltd* [1923] 2 KB 261, 293. Recent examples of acceptance of the doctrine and the repetition of the phrases in which it has been expounded are to be found in *Jones v Padavatton* [1969] 1 WLR 328 and *Ford Motor Co Ltd v Amalgamated Union of Engineering and Foundry Workers* [1969] 1 WLR 339. I may mention here that in the former of these two cases Danckwerts LJ said that the principles involved are very well discussed in *Cheshire and Fifoot on Contract*, 6th ed (1964), at pp 94–6, and that leads me to mention that I have found helpful the corresponding passages in the second (1969) Australian edition of that work by Messrs JG Starke and PFP Higgins, pp 189–96. Professor Williston has criticized the idea that a common intention of the parties to create legal relations is a necessary element in the formation of a contract. I may add that another distinguished American writer, [367] Professor Corbin, in his work *The Law of Contracts* (revised ed 1963), vol 1, p 137, put the matter as follows: "In order to make an enforceable contract, it is not necessary that the parties should consciously advert to legal relations, but it is necessary that they should not express an intention to exclude legal relations."

In this Court in *Australian Woollen Mills Pty Ltd v The Commonwealth* (1954) 92 CLR 424, 457, Dixon CJ, Williams, Webb, Fullagar and Kitto JJ in a joint judgment spoke of "a principle which is fundamental to any conception of contract", saying, "It is of the essence of contract, regarded as a class of obligations, that there is a voluntary assumption of a legally enforceable duty". I venture to say, despite some statements in other cases, that whether there was a voluntary assumption of a legally enforceable duty in a particular case is not to be decided by asking whether or not the parties had expressed or exhibited an actual and positive intention that their agreement was to result in legal obligations. It depends rather on an inference to be drawn from the subject matter and nature

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of their agreement, and other circumstances to which I referred in what I wrote in *South Australia v The Commonwealth* (1962) 108 CLR 130, which I refrain from repeating. Social engagements and domestic arrangements are outside the realm of contract law, simply because the parties to them must be regarded as intending that their mutual promises, whether kept or broken, are not to land them in Court. The principle has been extended in England to arrangements not involving purely social engagements of an ordinary character, but which were nevertheless taken to have been intended by the parties not to create obligations enforceable by law: eg, *Coward v Motor Insurers' Bureau* [1963] 1 QB 259, 271. Agreements made between an individual and the Government are sometimes said to be in the same position. But I think that they are outside the class of legally enforceable contracts for a rather different reason. There is there a reflection of the rule that historically promises made by Government were not justiciable and enforceable against the Crown by the ordinary processes of an action at law. This is not because they are not obligations meant by the parties to be binding, or which are not "binding in moral equity and conscience", but historically they "want the 'vinculum juris'", to use the expressions which Tindal CJ used in the old case of *Gibson v East India Co* (1839) 5 Bing NC 262, 274; 132 ER 1105, 1110. But in Australia today these considerations have disappeared. The Commonwealth can sue and be sued in the courts [368] in ordinary actions in contract and in tort. In the present case it seems to me unnecessary to ask whether the Commonwealth and the plaintiff intended the Agreement to create legal rights and obligations. I think that obviously they did. But proof of a common intent seems to me to be not required. Parliament's approval of the Agreement and the appropriation by Parliament of funds to meet it, when added to its essentially commercial character and its language, are enough I consider to rescue it from the unenforceability which a purely political arrangement has, and to give it a contractual character. It is worth noticing that in the *Australian Woollen Mills* Case (1954) 92 CLR 424, where the opposite conclusion was reached as to the subsidy scheme there in question, the Court said at 461: "If there was an intention on the part of the Government to assume a legal obligation, one would certainly have expected statutory authority to be sought."

Here it was sought and given …

The question thus becomes simply one of the proper construction of cl 14 of the Agreement …

The discretion given to the Commonwealth to determine the quantum of subsidy is said to make the Commonwealth's promise "illusory", or, as it was also said, to make cl 14 an "illusory contract". Very distinguished writers on the law of contracts have adopted these terms as categorematic. Nevertheless I have the temerity to question the terminology in its application to this case. The expression an illusory promise is not, as I understand it, here used to mean an illusion that there was a promise: it means a real promise but one which is devoid of legal consequence. It is illusory, not because it is not a promise, but because it deceptively creates the illusion of a contract where there is none. By an illusory contract, on the other hand, what is meant is a bilateral transaction having some semblance to a contract, but not in truth a contract because not capable of creating legally enforceable rights and obligations. The proposition that the undertaking by the Commonwealth to pay a subsidy is "illusory", and the promise therefore ineffectual in law, has as its basis that the amount of the subsidy is to be whatever amount the Commonwealth determines.

In *Loftus v Roberts* (1902) 18 TLR 532, 534, Vaughan Williams LJ said:

> Wherever words which by themselves constituted a promise were accompanied by words which showed that the promisor [370] was to have a discretion or option as to whether he would carry out that which purported to be the promise, the result was that there was no contract on which an action could be brought at all. The doctrine was an old one. In *Leake on Contracts*, 3rd ed, p 3, it was expressed thus: — "Promissory expressions reserving an option as to the performance do not create a contract".

This statement is unquestionable. But it seems to me that it does not fit this case. Clause 14 does not reserve to the Commonwealth any option as to whether it will perform the promise it there made. It was for it to determine what should be the amount of the subsidy it would pay: but its promise was

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to determine an amount and to pay it: it had no discretion to do or not to do this: its discretion was only as to the amount to be paid. It is however said that the result of this discretion to determine the amount of a subsidy amounts to a discretion to pay nothing at all.

For this a long line of decisions in cases between master and servant is referred to by way of analogy … The latest of which I am aware is *Powell v Braun* [1954] 1 WLR 401, a decision of the Court of Appeal. The defendant there had written to his secretary stating that, instead of increasing her salary, he proposed to pay her each year a bonus calculated by reference to the net trading profit of the business. The letter included the following [1954] 1 WLR 401, 402: "I, therefore, [371] propose to … pay you an amount according to the trading results of the previous financial year …. I cannot say at this juncture what the amount will be, but I am sure you will not be disappointed with it from year to year."

The plaintiff replied to the letter saying that she appreciated the offer. Bonuses were paid to her for six years. Then the defendant refused to pay on the grounds that there was no firm promise to pay anything and that any promise was too vague and general to be enforced.

The Court of Appeal, reviewing the circumstances, held that the defendant had bound himself to pay something, provided there were profits. The amount to be paid would, Lord Evershed said, and with this Romer LJ agreed, be "a reasonable sum, that is, a sum arrived at so as to bear a reasonable relationship to the trading profit" [1954] 1 All ER 401, 486. Denning LJ expressed it as "an amount within his" (scilicet the defendant's) "reasonable discretion, that is, it would be the amount which a fair and just man would pay in the exercise of a reasonable discretion" [1954] 1 All ER 401, 486. The actual amount to be paid was treated by the court in that case as equivalent to a quantum meruit by way of additional remuneration above the plaintiff's fixed salary. An amount was agreed between the parties and judgment given accordingly. The approach resembled in some respects that taken by the House of Lords in *Way v Latilla* [1937] 3 All ER 759. The Tasmanian case of *Ikin v Cox Bros (Aust) Ltd* (1929) 25 Tas LR 1 can usefully be compared.

When an agreement produces a liability to pay some sum of money, and the amount is not determined by the agreement, there is ordinarily no obstacle to saying that a reasonable sum was intended: and, if what is a reasonable sum can be determined by a court, a judgment for that amount can be given. If what has to be determined is a reasonable price for a thing sold or a quantum meruit for services rendered a jury can determine it. It is not in such cases a precise sum, but any sum which lies within what a court considers the limits of reason. That is trite. But the principle necessarily depends upon there being some criteria by which reasonableness can be measured or tested. The market place and what was paid in other cases may provide a measure, and fix an amount which reason requires be thus ascertained … [372]

But when there is no trade or business, market or experience to which to refer, a difficulty arises: a jury cannot say what is a reasonable sum if there be no weight or measure they can apply, and which a court could use to test whether their verdict is or is not within the bounds of reason. A court could not say whether any sum which the Commonwealth determined to pay the timber company was or was not a reasonable subsidy. There are no objective criteria of the reasonableness of a subsidy. A court could not say on what basis or with what considerations in mind the Commonwealth should determine the subsidy it promised by cl 14. That would be to make a contract for the parties different from that which they made by which the decision was to rest with the Commonwealth. It would mean "transferring to the court the exercise of a discretion vested in the respondents" (here the Commonwealth), to use the words of the Privy Council in *Kofi-Sunkersette Obu v A Strauss & Co Ltd* [1951] AC 243, 250. But to my mind it does not follow that because the court cannot take over the discretion which the Commonwealth undertook to exercise, the Commonwealth is released from its undertaking.

For these reasons I am not prepared to say that the provisions of cl 14 do not amount to a contract. In my opinion they do. But it is not a contract which the timber company can enforce; for it was not a party to the contract. Indeed it was not even in existence when the contract was

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made. The contract was between the plaintiff, then known as Bulolo Gold Dredging Ltd, and the Commonwealth. The plaintiff could in my opinion enforce it by an action for damages if it be broken, or perhaps by proceedings for specific performance: cf *Beswick v Beswick* [1968] AC 58. It may be that neither remedy would produce any substantial advantage for the plaintiff, or indirectly for the timber company. Nevertheless, when the elements of offer and acceptance and resulting promise supported by consideration be present, I prefer to say there is a contract, albeit, in some cases, one for the breach of which damages cannot be quantified. The contractual obligation of the Commonwealth to the plaintiff was to decide what sum in its discretion it considered, having regard to all considerations which weighed with it, commercial and political, it would be [373] reasonable to pay the timber company by way of subsidy; and, having decided it, to pay it. I base this conclusion simply on the words of cl 14, not by any attempt to match them against words which were in question in any other cases ….

A basic assumption of our law is that bargains are to be kept. This applies today to the contracts which the Crown makes with a subject as forcefully as it does to contracts between subject and subject. That a court cannot determine the amount to be paid as subsidy is, in my view of the case, no reason for the Commonwealth not performing its promise to do so. If it does not exercise the discretion it contracted to exercise the plaintiff might recover no more than nominal damages. But I do not think that means that, using the language of question 4(b), the Commonwealth has under cl 14 an absolute discretion "to determine a subsidy of a nominal amount or rate". If that means a sum which is so small and insignificant that it does not answer the description of a subsidy, the answer to that question must I think be "No".

A subsidy, by its derivation from the Latin subsidium means an aid or help … A merely nominal sum, not of any value at all [374] to the timber company, would I think belie the word subsidy: it would be illusory in a true sense of that word. But, apart from that, the amount to be paid under cl 14 of the Agreement is an amount which the Commonwealth considers in all the circumstances to be reasonable. As to this its discretion is absolute, unfettered and not questionable in legal proceedings. The amount which the Commonwealth determines as a subsidy may be large or small. But I cannot agree that an undertaking to pay something is met by paying nothing or some trifling sum such as a dollar or a cent.

[In answer to the questions raised by the case stated, the Court held that the defendant was not obliged by the agreement to determine a rate of subsidy which would allow the timber company to recoup the duty paid and was not obliged by the agreement to pay a subsidy to the plaintiff.]

CHAPTER **7**

Formalities

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THE STATUTE OF FRAUDS

[7.05] The common law does not require the parties to a contract to record their agreement in writing. An agreement is enforceable at common law even though there is no written record of it. Formal requirements are imposed by legislation in respect of some types of contract, such as building contracts and contracts for the provision of consumer credit. This chapter focuses on the statutory provisions in force in all Australian jurisdictions that render a contract for the sale of land unenforceable unless it is made or evidenced in writing. These are the successor provisions to a 1677 English statute known as the *Statute of Frauds* (UK) (29 Car II c 3).

The *Statute of Frauds* provided, in effect, that certain contracts would be unenforceable unless in writing or evidenced by some memorandum in writing and signed by the party to be sued. The statute was later received as part of the law of the Australian colonies. The preamble to the statute stated its purpose to be "the prevention of many fraudulent practices which are commonly endeavoured to be upheld by perjury and subornation of perjury".

The most important provisions of the Act were those contained in ss 4 and 17. Section 4 provided as follows:

> no action shall be brought whereby to charge any executor or administrator upon any special promise, to answer damages out of his own estate; or whereby to charge the defendant upon any special promise to answer for the debt, default or miscarriages of another person; or to charge any person upon any agreement made upon consideration of marriage; or upon any contract or sale of lands, tenements or hereditaments, or any interest in or concerning them; or upon any agreement that is not to be performed within the space of one year from the making thereof, unless the agreement upon which such action shall be brought, or some memorandum

or note thereof shall be in writing, and signed by the party to be charged therewith, or some other person thereunto by him lawfully authorised.

Section 17 provided as follows:

no contract for the sale of any goods, wares, or merchandise, for the price of ten pounds sterling or upwards, shall be allowed to be good, except the buyer shall accept part of the goods so sold, and actually receive the same, or give something in earnest to bind the bargain, or in part payment, or that some note or memorandum in writing of the said bargain be made and signed by the parties to be charged by such contract, or their agents thereunto lawfully authorised.

Sixth Interim Report

[7.10] United Kingdom Law Revision Committee, *Sixth Interim Report* (CMD 5449, 1937).

Contemporary opinion is almost unanimous in condemning the statute and favouring its amendment or repeal.

9. The main criticisms directed against s 4 may be summarised under the following heads:

(1) First and foremost, it is urged that the Act is a product of conditions which have long passed away. At the time when it was passed, essential kinds of evidence were excluded (for example, the parties themselves could not give evidence), and objectionable types of evidence were admitted (for example juries were still in theory entitled to act on their own knowledge of the facts in dispute). It was an improvement on this state of affairs to admit the evidence of the parties, even though only to the extent that such evidence was in signed writing. Today, when the parties can freely testify, the provisions of s 4 are an anachronism. A condition of things which was advanced in relation to 1677 is backward in relation to 1937.

(2) "The Act", in the words of Lord Campbell already cited "promotes more frauds than it prevents". True, it shuts out perjury; but it also and more frequently shuts out the truth. It strikes impartially at the perjurer and at the honest man who has omitted a precaution, sealing the lips of both. Mr Justice FitzJames Stephen (writing of s 17, but his observation applies equally to s 4 went so far as to assert: "in the vast majority of cases its operation is simply to enable a man to break a promise with impunity, because he did not write it down with sufficient formality": (1885) 1 LQR 1 at 1.

(3) The classes of contracts to which s 4 applies seem to be arbitrarily selected and to exhibit no relevant common quality. There is no apparent reason why the requirement of signed writing should apply to these contracts, and to all of them and to no others.

(4) The section is out of accord with the way in which business is normally done. Where actual practice and legal requirement diverge, there is always an opening for knaves to exploit the divergence.

(5) The operation of the section is often lopsided and partial. A and B contract: A has signed a sufficient note or memorandum, but B has not. In these circumstances B can enforce the contract against A, but A cannot enforce it against B.

(6) The section does not reduce contracts which do not comply with it to mere nullities, but merely makes them unenforceable by action. For other purposes they preserve their efficacy (for *what* other purposes precisely, is doubtful; see (1936) 51 LQR at 49). Anomalous results flow from this: for example, in *Morris v Baron* [1918] 1 AC 1, a contract which complied with the section was superseded by a second contract which did not so comply. It was held that neither contract could be enforced: the first, because it was validly rescinded by the second, the second because, owing to its purely oral character, no action could be brought on it. This was a result which the parties could not possibly have intended.

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(7) Apart from its policy the statute is in point of language obscure and ill-drafted. "It is universally admitted," observed the original editor of *Smith's Leading Cases*, "that no enactment of the legislature has become the subject of so much litigation." This could hardly have been so if its terms had been reasonably lucid.

10. Most of the above criticisms apply, both to s 4 and s 17 of the *Statute of Frauds*, and therefore to s 4 of the *Sale of Goods Act* 1893, so far as it reproduces that section.

A word or two should perhaps be said in amplification of the criticisms under heads (3) and (4) above.

Criticism (3). Assuming that there may be classes of contracts in respect of which special evidentiary requirements should be insisted on as a condition of their enforceability, can it be said that there is any ground for singling out the particular classes of contracts named in ss 4 (and ss 17). of the *Statute of Frauds?*

It cannot be supposed that the framers of this legislation selected them purely at random. They would seem to have had in mind more than one criterion:

(A) the value or importance of the subject matter. The more considerable the subject matter, the greater the inducement to commit perjury, and the desirability of evidence which shall be proof against perjury (this seems to have been the criterion applied by the legislature in including contracts affecting land: contracts for sale of goods of a value (or price) of £10 or upwards — more substantial amount then than now: and possibly agreements in consideration of marriage);

(B) the interposition of a long interval between the making of the contract and its complete performance. The longer this interval, the worse will be the recollection of witnesses, and the more difficult it will be to expose an invention ("contracts not to be performed within a year of the making thereof");

(C) the one-sided or disinterested character of the ostensible bargain. The law, perhaps cynically, regards such bargains with scepticism, and is inclined to require specially cogent evidence of their existence (promises by an executor or administrator to answer damages out of his own estate: contracts of guarantee).

THE AUSTRALIAN PROVISIONS

[7.15] In Australia, the legislative provisions dealing with the formalities introduced by the *Statute of Frauds* vary considerably from jurisdiction to jurisdiction. In most jurisdictions, the *Statute of Frauds* has been repealed, and only some of its provisions re-enacted. The provisions affecting contracts for the sale of land are listed in the following extract.

Civil Law (Property) Act 2006 (ACT)

[7.20] *Civil Law (Property) Act 2006* (ACT), s 204.

Proceedings do not lie on certain unwritten agreements

(1) A proceeding does not lie against a person on a contract for the sale or other disposition of land unless the agreement on which the proceeding is brought, or a memorandum or note of the agreement, is in writing signed by the person or by the person's agent properly authorised in writing.

Conveyancing Act 1919 (NSW)

[7.25] *Conveyancing Act 1919* (NSW), s 54A.

Contracts for sale etc of land to be in writing

(1) No action or proceedings may be brought upon any contract for the sale or other disposition of land or any interest in land, unless the agreement upon which such action or proceedings is brought, or some memorandum or note thereof, is in writing, and signed by the party to be charged or by some other person thereunto lawfully authorised by the party to be charged.

Law of Property Act (NT)

[7.30] *Law of Property Act* (NT), s 62.

Contracts for sale etc of land to be in writing

No proceeding may be commenced on a contract (wherever made) for the sale or other disposition of land unless the contract on which the proceeding is commenced, or some memorandum or note of the contract, is in writing and signed by the party to be charged or by a person lawfully authorised by the party.

Property Law Act 1974 (Qld)

[7.35] *Property Law Act 1974* (Qld), s 59.

Contracts for sale etc of land to be in writing

No action may be brought upon any contract for the sale or other disposition of land or any interest in land unless the contract upon which such action is brought, or some memorandum or note of the contract, is in writing, and signed by the party to be charged, or by some person by the party lawfully authorised.

Law of Property Act 1936 (SA)

[7.40] *Law of Property Act 1936* (SA), s 26.

Contracts for sale of land to be in writing

(1) No action shall be brought upon any contract for the sale or other disposition of land or of any interest in land, unless an agreement upon which such action is brought, or some memorandum or note thereof, is in writing, and signed by the party to be charged or by some person thereunto by him lawfully authorised.

Instruments Act 1958 (Vic)

[7.45] *Instruments Act 1958* (Vic), s 126.

Certain agreements to be in writing

(1) An action must not be brought to charge a person upon a special promise to answer for the debt, default or miscarriage of another person or upon a contract for the sale or other disposition of an interest in land unless the agreement on which the action is brought, or a memorandum or note of the agreement, is in writing signed by the person to be charged or by a person lawfully authorised in writing by that person to sign such an agreement, memorandum or note.

(2) It is declared that the requirements of sub-section (1) may be met in accordance with the Electronic Transactions (Victoria) Act 2000.

Conveyancing and Law of Property Act 1884 (Tas)

[7.50] *Conveyancing and Law of Property Act 1884* (Tas), s 36.

Contracts for sale, &c, of land to be in writing

(1) No action may be brought upon any contract for the sale or other disposition of land, or any interest in land, unless the agreement upon which such action is brought, or some memorandum or note thereof, is in writing, and signed by the party to be charged or by some other person thereunto by him lawfully authorized.

Mercantile Law Act 1935 (Tas)

[7.55] *Mercantile Law Act 1935* (Tas), s 6.

Certain parol promises and agreements not actionable

No action shall be brought whereby to charge any executor or administrator upon any special promise to answer damages out of his own estate; or whereby to charge the defendant upon any special promise to answer for the debt, default, or miscarriage of another person; or to charge any person upon any agreement made upon consideration of marriage; or upon any contract or sale of lands, tenements, or hereditaments, or any interest in or concerning them; or upon any agreement that is not to be performed within the space of one year from the making thereof; unless the agreement upon which such action shall be brought, or some memorandum or note thereof, shall be in writing, and signed by the party to be charged therewith, or some other person thereunto by him lawfully authorized.

Law Reform (Statute of Frauds) Act 1962 (WA)

[7.60] *Law Reform (Statute of Frauds) Act 1962* (WA), s 2.

Statute of Frauds 1677, s 4 applies in amended form

The provisions of section 4 of the Statute of Frauds 1677, continue in force in this State in relation to any promise or agreement, whether made before or after the coming into operation of this Act, as if the following passages were deleted from that section, namely —

(a) "whereby to charge any executor or administrator upon any special promise to answer damages out of his own estate; or";

(b) "or to charge any person upon any agreement made upon consideration of marriage"; and

(c) "or upon any agreement that is not to be performed within the space of one year from the making thereof".

[7.65] **Note**

See also *Law of Property Act* (NT), s 58; *Property Law Act 1974* (Qld), s 56 (in relation to contracts of guarantee); *Sale of Goods Act 1896* (Tas), s 9; *Sale of Goods Act 1895* (WA), s 4 (in relation to contracts for the sale of goods over a certain price).

THE FORMALITIES REQUIRED

[7.70] There are five questions that might arise where a document is said to satisfy the statute:

1. whether the document sufficiently identifies the parties to the contract and the terms of the contract (see *Pirie v Saunders* (1961) 104 CLR 149 at [7.95]);
2. whether a document that comes into existence before the contract is made can satisfy the statute (see *Pirie v Saunders* (1961) 104 CLR 149 at [7.95]);
3. whether the statute can be satisfied by a number of documents, taken together (see, eg, *Tonitto v Bassal* (1992) 28 NSWLR 564);
4. whether the document has been signed (see *Pirie v Saunders* (1961) 104 CLR 149 at [7.95]); and
5. whether a document in electronic form can satisfy the statute.

Documents in electronic form

[7.75] Can a document in electronic form (such as a message sent by email or an electronic record of a sale made over the internet) satisfy the statute of frauds provisions? Two questions arise:

Is the document "in writing"?

[7.80] Each of the Electronic Transactions Acts (ETAs) provides that, for the purposes of a law of the relevant jurisdiction, "a transaction is not invalid" because it took place wholly or partly

by means of one or more electronic communications: *Electronic Transactions Act 1999* (Cth), s 8; *Electronic Transactions Act 2001* (ACT), s 7; *Electronic Transactions Act 2000* (NSW), s 7; *Electronic Transactions (Northern Territory) Act*, s 7; *Electronic Transactions (Queensland) Act 2001* (Qld), s 8; *Electronic Communications Act 2000* (SA), s 7; *Electronic Transactions Act 2000* (Tas), s 5; *Electronic Transactions (Victoria) Act 2000* (Vic), s 7; *Electronic Transactions Act 2011* (WA), s 8. Regulations in South Australia provide that the relevant section does not apply to a law relating to the disposition of an interest in land: *Electronic Transactions Regulations 2002* (SA), reg 4(1)(a). In Victoria, s 126 of the *Instruments Act 1958* (at [7.45]) specifically provides that its requirements "may be met in accordance with the *Electronic Transactions (Victoria) Act 2000* (Vic)". In other States and Territories, it seems that the relevant ETA provision is intended to allow electronic communications to satisfy the statute of frauds provisions. The choice of language is unfortunate, however, since it is well accepted that non-compliance with the statute of frauds provisions does not render a contract invalid, but simply unenforceable (see [7.105] and Greig and Davis, *The Law of Contract* (1987), pp 715–6). The provisions of the ETAs may, however, be interpreted broadly in accordance with the object of the legislation, which is "to provide a regulatory framework that", inter alia, "facilitates the use of electronic transactions": *Electronic Transactions Act 1999* (Cth), s 3; *Electronic Transactions Act 2001* (ACT), s 3; *Electronic Transactions Act 2000* (NSW), s 3; *Electronic Transactions (Northern Territory) Act*, s 3; *Electronic Transactions (Queensland) Act 2001*, s 3; *Electronic Communications Act 2000* (SA), s 3; *Electronic Transactions (Victoria) Act 2000*, s 4; *Electronic Transactions Act 2011* (WA), s 3.

Has the document been signed?

[7.85] In order to satisfy the statute of frauds provisions, a document must not only be "in writing" but must also be "signed by the party to be charged". The ETAs provide that, where a law requires a person's signature, that requirement is taken to have been met if an appropriately reliable method has been used to indicate the person's approval and the person consents to the requirement being met by that method: *Electronic Transactions Act 1999* (Cth), s 10; *Electronic Transactions Act 2001* (ACT), s 9; *Electronic Transactions Act 2000* (NSW), s 9; *Electronic Transactions (Northern Territory) Act*, s 9; *Electronic Transactions (Queensland) Act 2001*, s 14; *Electronic Communications Act 2000* (SA), s 9; *Electronic Transactions Act 2000* (Tas), s 7; *Electronic Transactions (Victoria) Act 2000*, s 9; *Electronic Transactions Act 2011* (WA), s 10. Given the generous approach the courts have taken to meeting the "signature" requirement in the statute of frauds provisions, it may not be necessary to resort to the provisions of the ETAs relating to signature.

Signature

[7.90] Each of the statute of frauds provisions requires that the written contract or memorandum be signed by the party to be charged or by that person's authorised agent (who, in Victoria, must be authorised in writing: *Instruments Act 1958* (Vic) s 126). The notion of signature in this context has been liberally interpreted by the courts. The printing or typing of a person's name may be taken as a signature, provided the document has been "authenticated" by the party in question. That is, provided the party to be charged has recognised the writing as the final record of the contract. This is known as the "authenticated signature fiction".

Pirie v Saunders

[7.95] *Pirie v Saunders* (1961) 104 CLR 149 (High Court of Australia) – On Appeal from the Supreme Court of New South Wales.

[FACTS: The *respondent* sought damages from the *appellants* for breach of an alleged agreement to grant a lease of certain shop premises to the respondent. The appellants argued that any contract that might have resulted from the discussions between the parties was unenforceable under s 54A of the *Conveyancing Act 1919* (NSW). The respondent argued that handwritten notes made by the appellants' solicitor of instructions to prepare a lease constituted a sufficient memorandum or note of the agreement for the purposes of s 54A. The Full Court of the Supreme Court of New South Wales (by majority) held that the solicitor's notes were capable of being regarded as a sufficient note or memorandum.]

THE COURT (DIXON CJ, FULLAGAR, KITTO, TAYLOR AND MENZIES JJ): [152] It is quite clear from the evidence in the case that both the appellants and the respondent contemplated the preparation of a formal memorandum of lease and it is, at the very least, doubtful whether the testimony of the latter is capable of supporting the conclusion that an oral contract was made. Particularly is this so when it is seen that a draft lease was prepared and that in subsequent discussions by correspondence various amendments were proposed and accepted. But at the trial and before the Full Court the appellants appear to have been content to rest the determination of this issue upon the question whether an agreement for a fixed term to commence "from the completion of the building" did or did not specify the commencing date of the term with sufficient certainty. This bare submission was rejected and, we think rightly rejected, by the Full Court. In these circumstances we do not think it would be proper for us at this stage to enter upon a full examination of the evidence for the purpose of considering whether in fact the oral discussions between the parties are capable of being regarded as sufficient to justify the conclusion that they entered into a binding contract for the granting of a lease.

The other question in the case, that is whether a sufficient note or memorandum had been proved, was answered by a majority of the Full Court in favour of the respondent. They were of the opinion that the fact that one of the appellants, acting both for himself and for the other appellant, gave certain instructions to their solicitor and "stood by" whilst the instructions were written [153] down by the solicitor "afforded evidence that he was impliedly recognizing the writing as an authentic record of the prior oral bargain with the plaintiff which the jury found to have been made, in which case the defendants' names in the document could be regarded as 'signatures' within the meaning of the statute".

It will be necessary to refer to the solicitor's notes with greater particularity but before doing so it should be mentioned that neither before the Full Court nor before us was reliance placed by the respondent upon any other document. Originally at the trial he had attempted to rely upon a form of lease sent to his solicitor under cover of a letter from the appellants' solicitor in July 1954. It became clear that, as constituting a note or memorandum of the contract sued upon, these documents were, for obvious reasons, defective and when, in the defendants' case, the solicitor's note of his instructions became, for no very apparent reason, evidence in the case it was readily seized upon to support the respondent on this issue. From that time onwards reliance has been placed on this document alone and in the circumstances it is necessary that we should examine it and see how it came into existence.

According to the evidence the appellant Cripps, acting for himself and for the first named appellant, called to see their solicitor, Mr Hargraves, in order to give him instructions to prepare a draft lease for submission to the respondent's solicitor. We are not given the details by oral evidence of what was then said but after having testified that he had received his first instructions from Cripps, Mr Hargraves was asked whether he had made certain notes. Upon answering in the affirmative his notes were produced and tendered and admitted in evidence. The exhibit is in the following form:

> William Thompson Pirie 489 King Georges Rd, Ross Anthony Cripps B Hills. Prop: part of Lot B Princes Highway, Sylvania Heights. Tenant: Wilfred Saunders 27 Crystal Street, Sylvania Heights. Solr: TGW Lees, 113 Pitt Street. Terms: 5 years. 2 years option. Rental: £5 10 0

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> per week Commencement – on completion of property. Premium: £400 (wants cash). Use: Bakery shop – sells cakes and pastry. Fixtures: Right to remove provided no damage. No right to transfer without consent. Special Conditions – Check as to Board of Health and septic tank. [154]

Thereafter Mr Hargraves prepared a draft lease, there were discussions by correspondence between the solicitors concerning the introduction of additional terms and finally a formal memorandum of lease was engrossed. But since the premises were not then completed this instrument did not purport to fix the commencing date of the term. Presumably this was left to be inserted after the premises had been completed but the instrument was prepared so that everything would be in readiness when it became possible to specify a commencing date.

In these circumstances the Full Court, by majority, took the view that the solicitor's notes of his instructions were capable of being regarded as a sufficient note or memorandum of an earlier concluded agreement. This view was based upon the so-called "authenticated signature fiction" by which the majority meant "that if the name of the party to be charged (not being a signature in the ordinary sense of the word) is placed on the document said to constitute the written memorandum of the contract, it is to be treated as a signature for the purposes of the statute if such party expressly or impliedly indicates that he recognizes the writing as being an authenticated expression of the contract". But since they considered that the jury should have been asked to determine as a question of fact whether what took place when Cripps gave instructions to Hargraves "amounted to an authentication" of the appellants' "signatures" they directed that there should be a new trial. Possibly their Honours intended to limit the new trial to this issue but the formal order is in general terms.

With respect to those members of the Full Court who thought otherwise we are of the opinion that their Honours' decision pushes too far the principle applied in *Leeman v Stocks* [1951] Ch 941 and the earlier cases referred to in *Neill v Hewens* (1953) 89 CLR 1. The principle applied in those cases can, we think, have no application to any document which is not in some way or other recognizable as a note or memorandum of a concluded agreement. We do not mean by this that it is necessary that the written note must always appear to have been made after the making of the contract for it is clear that a written proposal or offer may by its subsequent acceptance become by the conduct of the parties recognizable as a sufficient note or memorandum of the resulting contract (*Warner v Willington* (1856) 3 Drewry 523; 61 ER 1002; *Smith v Neale* (1857) 2 CB (NS) 67; 140 ER 337 and *Reuss v Picksley* (1866) LR 1 Ex 342). But this is not such a case. [155]

[7.100] Here there is an allegation of a prior concluded contract and the solicitor's notes are said to constitute a note or memorandum of this contract. But they purport to be and are nothing more or less than a brief notation of his instructions for the preparation of a draft lease for submission to the respondent's solicitor. Neither the existence of the document nor its contents are indicative of the existence of any binding contract. Perhaps, in other words, it may be said that the enumerated particulars do not appear as a note or memorandum of a subsisting contract as distinct from bare instructions for the preparation of a formal lease. Both the document and its contents are quite consistent with the hypothesis that the parties had not made any prior binding contract and that their rights and obligations were not to be effected until the execution of a memorandum of lease in the form which, after discussion, it should finally take. That being so it in no way recognizes the existence of any binding contract and cannot therefore be regarded as a note or memorandum of any such contract (cf *Thirkell v Cambi* [1919] 2 KB 590).

In these circumstances it is not of much consequence to enter upon a discussion concerning the view expressed by the majority of the Full Court that the appellant Cripps "stood by" whilst Hargraves noted his instructions and that these circumstances "afforded evidence that he was impliedly recognizing the writing as an authentic record of the prior oral bargain with the plaintiff". But since there is nothing in the evidence to suggest that Cripps had any knowledge of what was written down, it seems clear that no inference adverse to the appellants can be based on the so-called "standing by". Moreover even if Cripps can be said to have "stood by" there is no room for the inference that

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he impliedly recognized the writing as an authentic record of any prior oral bargain. Indeed, both the character and contents of the document and the circumstances in which it was composed tell conclusively against any such inference. We should add also that the nature of the document was such as to render any inquiry concerning the solicitor's authority to make it quite inappropriate.

Finally, even if these objections are not properly founded, it will be seen upon examination that there are several reasons why the document could not be regarded as a sufficient note or memorandum. In the first place it does not specify the property which is to be leased beyond describing it as "part of Lot B, Princes Highway, Sylvania Heights". This alone is, we should think, a fatal objection. Secondly, it is clear that the document does not [156] contain all the terms of the proposed lease for it contemplates the formulation of special conditions after ascertainment of the requirements of the Board of Health. Again, the agreement for breach of which the respondent sought damages was an agreement in the terms alleged in the declaration and the lease the subject of the alleged agreement was to contain, in addition to the matters specified in the declaration, "all the usual and proper covenants". But it is reasonably clear from the immediately following allegation in the declaration that "the said lease was prepared by the defendants" solicitor and all covenants were agreed to by the plaintiff and the defendants', and from succeeding allegations, that the substance of the respondent's case was that there had been a breach of an agreement to grant a lease in the form which the final engrossment took. That being so it is clear that, even if the solicitor's notes can be regarded as a note or memorandum of an agreement between the parties, it is quite insufficient to support the agreement sued upon.

For these reasons the appeal should be allowed and the order of the Full Court set aside.

Appeal allowed.

THE CONSEQUENCES OF NON-COMPLIANCE

Unenforceability

[7.105] A failure to comply with the provisions of the *Statute of Frauds* makes a contract unenforceable, rather than void. In *Leroux v Brown* (1852) 12 CB 801; 138 ER 1119, Jervis CJ said: "The statute … does not say, that, unless those requisites are complied with, the contract shall be void, but merely that no action shall be brought upon it."

This means that it may in some circumstances be possible to rely on an unenforceable verbal contract as a defence (see, eg, *Thomas v Brown* (1876) 1 QBD 714), although this remains a matter of controversy (see *Perpetual Executors & Trustees Association of Australia Ltd v Russell* (1931) 45 CLR 146 and *Head v Kelk* (1963) 63 SR (NSW) 340 and *Take Harvest Ltd v Liu* [1993] AC 552).

Part performance

[7.110] Soon after the *Statute of Frauds* was passed, it became apparent that it had the potential to enable the perpetration of more fraudulent acts than it avoided. Equity intervened and developed what has come to be known as the *doctrine of part performance*. According to this doctrine, a person who has partly performed a contract should be able to obtain equitable relief even though the contract itself failed to comply with the statute. Because part performance is an equitable doctrine, only equitable relief can be granted to give effect to it. Part performance will not provide a basis for an action for damages at common law (*JC*

Williamson Ltd v Lukey (1931) 45 CLR 282 at [30.70]). This means that the doctrine of part performance can only be utilised in circumstances where specific performance is available (see Chapter 30). In circumstances where specific performance is available, a court may award damages in lieu of specific performance under legislation in force in all jurisdictions re-enacting the provisions of *Lord Cairns' Act* (see [30.60]). On the question whether injunctive relief may be available to a person seeking to enforce a contract on the basis of part performance, see *JC Williamson v Lukey and Mulholland* at [30.70]. One of the most difficult problems in the application of the doctrine of part performance has been in determining whether there is a sufficient nexus between the acts of part performance and the alleged contract. A strict test (requiring that the acts be unequivocally referable to a contract of the kind alleged) was laid down in *Maddison v Alderson* (1883) 8 App Cas 467, but a more liberal test (requiring only that the acts point to the existence of a contract of some kind between the parties and are consistent with the contract alleged) was approved by the House of Lords in *Steadman v Steadman* [1974] 3 WLR 56.

Pipikos v Trayans

[7.112] *Pipikos v Trayans* [2018] HCA 39 (High Court of Australia) – On Appeal from the Supreme Court of South Australia.

[FACTS: Leon Pipikos (the *appellant*) and his wife Sophie made certain real estate investments together with Leon's brother George and George's then wife Velinka Trayans (the *respondent*). The two couples purchased an investment property together at *Penfield Road* in July 2004. The Penfield Road purchase was made by all four (as tenants in common) and was funded by a loan made to all four, together with approximately $75,000 paid by Leon and Sophie. Leon claimed that, in July 2004, in order to fund George and Velinka's participation in the Penfield Road purchase, George and Velinka orally agreed to sell Leon a half-interest in a property George and Velinka owned at *Clark Road*. The purchase price was $45,000, to be paid partly by way of funding Velinka and George's contribution to the Penfield Road purchase (ie, their share of the $75,000) and partly by way of a cash payment of approximately $8,000 Leon claimed to have made to them. Velinka later became the sole proprietor of the Clark Road property after she and George divorced. Leon sought a declaration that he was entitled to a half-interest in the Clark Road property. The trial judge found that no valid contract had been made, but even if it had, the payments made by Leon were insufficient to invoke the doctrine of part performance. The payments made by Leon were not unequivocally referable to a contract of the kind asserted but were equally consistent with a loan or an unequal contribution to the real estate investment partnership. On appeal, the Full Court found that a contract had been established but agreed that the requirements of part performance had not been satisfied.]

KIEFEL CJ, BELL, GAGELER AND KEANE JJ: [1] South Australia, in common with the other States and the Territories, requires that contracts for the sale of land meet certain formal requirements if they are to be enforceable (*Conveyancing Act* 1919 (NSW), s 54A; *Property Law Act* 1974 (Q), s 59; *Conveyancing and Law of Property Act* 1884 (Tas), s 36; *Instruments Act* 1958 (Vic), s 126; *Law Reform (Statute of Frauds) Act* 1962 (WA), s 2; *Civil Law (Property) Act* 2006 (ACT), s 204; *Law of Property Act* (NT), s 62). Section 26(1) of the *Law of Property Act* 1936 (SA) ("the Act"), the modern iteration of s 4 of the *Statute of Frauds* 1677 (29 Car II c 3), relevantly provides that:

> No action shall be brought upon any contract for the sale or other disposition of land or of any interest in land, unless an agreement upon which such action is brought, or some memorandum or note thereof, is in writing, and signed by the party to be charged.

[2] Section 26(2) of the Act provides relevantly that the section does not "affect the law relating to part performance".

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[3] In *Cooney v Burns* (1922) 30 CLR 216 at 233 (emphasis in original, see also at 226 per Knox CJ), Isaacs J summarised the law relating to part performance as being that a "bargain in fact made, though devoid of an enforceability either at law or in equity, has been so acted upon by *partly performing it* that for the defendant to recede from it at that stage would be a fraud on the plaintiff."

[4] In *Maddison v Alderson* (1883) 8 App Cas 467 at 479 (see also at 491 per Lord FitzGerald), the Earl of Selborne LC said that "the acts relied upon as part performance must be unequivocally, and in their own nature, referable to some such agreement as that alleged". The appellant submitted that it is unduly demanding of a party seeking specific performance of a parol contract for the sale of land to require that the acts of part performance be "unequivocally, and in their own nature, referable" to a contract of the kind asserted by the party seeking specific performance; and that in this case the courts below erred in adhering to this requirement.

[5] The appellant urged the adoption of a more relaxed approach, akin to the approach taken in the context of equitable estoppel, said to have been adumbrated by Lord Cranworth LC in *Caton v Caton* (1866) LR 1 Ch App 137 at 148. On the appellant's argument, the question a court must ask is whether a contracting party has knowingly been induced or allowed by the counterparty to alter his or her position on the faith of the contract. The resolution of this argument is the principal issue in this Court.

[6] The appellant's argument that the requirement of unequivocal referability stated by Lord Selborne in *Maddison v Alderson* should be relaxed must be rejected for the reasons which follow. Accordingly, the appeal must be dismissed.

…

The Australian authorities

[37] At the forefront of the appellant's argument in this Court was the contention that in *Regent v Millett* (1976) 133 CLR 679 Gibbs J, with whom Stephen, Mason, Jacobs and Murphy JJ agreed, expressed a preference for a more liberal approach to the availability of part performance as a basis for the enforcement of a parol contract for the sale of land than that stated by Lord Selborne in *Maddison v Alderson*. This contention was based on the circumstance that Gibbs J said (at 682) that "[t]he principle upon which the doctrine of part performance rests was stated by Lord Cranworth, Lord Chancellor in *Caton v Caton* (1866) LR 1 Ch App 137 in words which appear to have a direct application to the present case". The passage then cited by Gibbs J was in the following terms ((1866) LR 1 Ch App 137 at 148):

> [W]hen one of two contracting parties has been induced, or allowed by the other, to alter his position on the faith of the contract, as for instance by taking possession of land, and expending money in building or other like acts, there it would be a fraud in the other party to set up the legal invalidity of the contract on the faith of which he induced, or allowed, the person contracting with him to act, and expend his money.

[38] It is apparent that Gibbs J (at 682) regarded this statement as having a direct application to the case before him because it supported the proposition that:

> the entry into possession alone, or the taking of possession coupled with the expenditure of money by one party on the improvement of property, with the cognizance of the other party to the contract, may amount to part performance.

[39] On this basis, Gibbs J held (at 683) that, in the case before him, "the giving and taking of possession by itself was sufficient part performance of the contract".

[40] Nothing in the use made of *Caton v Caton* by Gibbs J in *Regent v Millett* gives any support for the relaxation of the approach of Lord Selborne in *Maddison v Alderson*. On the contrary, Gibbs J went on to say (at 683):

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> the test suggested by the Earl of Selborne LC in [*Maddison v Alderson* (1883) 8 App Cas 467 at 479], that the acts relied upon as part performance 'must be unequivocally, and in their own nature, referable to some such agreement as that alleged', has been consistently accepted as a correct statement of the law. It is enough that the acts are unequivocally and in their own nature referable to some contract of the general nature of that alleged (see *McBride v Sandland* (1918) 25 CLR 69 at 78).

[41] It is simply not possible to understand these observations as expressing reservation or doubt about the correctness of Lord Selborne's statement.

[42] It is also noteworthy that Gibbs J went on to say (at 683-684) that the taking of possession was unequivocally referable to the contract even though the contract permitted, but did not require, the plaintiffs to take possession of the land. In other words, his Honour's judgment rejected the suggestion that only an act to the detriment of a plaintiff on the faith of the contract would suffice as an act of part performance. As will be seen, the decision in *Regent v Millett* differs, in this respect, from the approach of Lord Reid in *Steadman v Steadman* [1976] AC 536 at 540.

[43] Earlier decisions of the High Court also support the view that Lord Selborne's requirement of unequivocal referability is to be taken as a correct statement of the law. In *McBride v Sandland* (1918) 25 CLR 69 at 77-79, 98-99, Isaacs, Rich and Powers JJ accepted Lord Selborne's statement of the law; and in *Cooney v Burns* (1922) 30 CLR 216 at 223, 229-231, 239, 243, 243-244, Knox CJ, Isaacs, Higgins, Gavan Duffy and Starke JJ did likewise.

[44] It is true that, in *McBride v Sandland* (1918) 25 CLR 69 at 79, Isaacs and Rich JJ accepted that an act of part performance must be done "by the party relying on it on the faith of the agreement, and … the other party must have permitted it to be done on that footing" if the moral turpitude that is the "ground of jurisdiction" is to be established. That view may not accord with what Lord Selborne actually said or with the decision in *Regent v Millett*. But otherwise there can be no doubt that in Australia Lord Selborne's statement of the law in *Maddison v Alderson* is unshaken by the course of authority in this Court.

[45] As to the appellant's contention that Lord Selborne's unequivocal referability requirement has not been the reason for the decision of any case in this Court, it would be difficult, to say the least, to reconcile a decision in the appellant's favour in this case with this Court's decision in *Cooney v Burns*. In that case, the defendant agreed to sell to the plaintiff the lease of a hotel of which the defendant was the lessee. After the contract was made, the lease of the hotel was handed to the plaintiff's solicitors for the purpose of having an assignment of the lease prepared together with notices of an application for the transfer of the associated liquor licence. The plaintiff's solicitors proceeded to prepare an assignment of the lease and the notices of application. An inventory of the furniture included in the sale was also taken. The plaintiff incurred expense in relation to these steps. These acts on the part of the plaintiff were held to be insufficient as acts of part performance in that they did not alter the relative positions of the parties in relation to the land the subject of the contract in terms of the title to, or possession of, or use of that land: (1922) 30 CLR 216 at 235, 241-242, 243, 244-245). The same may be said of the acts of part performance relied upon in this case by the appellant.

A rule of evidence or a principle of substance?

[46] It was common ground between the parties in the present case that the rationale of the doctrine of part performance is not concerned with the proof of the contract but with the enforcement of equities arising from the partial performance of the contract. On the appellant's behalf, it was argued that the requirement of unequivocal referability is a vestige of the tenacious heresy that the doctrine of part performance is concerned with the proof of the parol contract by a process of inference from the acts of part performance. It was said that Lord Selborne had erred by applying rules of Chancery procedure that had, by the time of *Maddison v Alderson*, been repealed, and that this had led to courts treating the requirement of unequivocal referability as a substantive rule when, in truth, it was an erroneously invoked rule of evidence.

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[47] It is true that some statements in the cases are far from clear as to the rationale of the doctrine of part performance. In some of the cases, the basal principle is stated in terms of a concern to enforce the equities that have arisen by reason of the performance of obligations under the parol contract in order to prevent the equitable fraud that would occur if the defendant were allowed to resile from a partly completed transaction (*Caton v Caton* (1866) LR 1 Ch App 137 at 148; *Maddison v Alderson* (1883) 8 App Cas 467 at 475-476, 489; *Steadman v Steadman* [1976] AC 536 at 540, 542-543, 558, 568; *Regent v Millett* (1976) 133 CLR 679 at 682). On this view, as *Pomeroy* says, the ground of equitable intervention is "a fraud inhering in the consequence of setting up the statute as a defense" (Symons, *Pomeroy's Equity Jurisprudence*, 5th ed (1941), vol 4, §1409. See also Story, *Commentaries on Equity Jurisprudence, as Administered in England and America*, 13th ed (1886), vol 2, §§754 and 758).

[48] In other cases, the principle has been stated in terms of a concern that evidence is necessary to satisfy a peculiarly high standard of proof to establish the fact of the making of a parol contract for the sale of land (*Morphett v Jones* (1818) 1 Swans 172 at 181; 36 ER 344 at 348; *Maddison v Alderson* (1883) 8 App Cas 467 at 479, 485; *Thomas v The Crown* (1904) 2 CLR 127 at 138; *Maiden v Maiden* (1909) 7 CLR 727 at 737-738; *Chaproniere v Lambert* [1917] 2 Ch 356 esp at 361; *Kingswood Estate Co Ltd v Anderson* [1963] 2 QB 169 at 189. See also *Actionstrength Ltd v International Glass Engineering IN.GL.EN SpA* [2003] 2 AC 541 at 549-550 [22]-[23]). In *Corbin on Contracts*, in relation to the requirement that the acts of part performance be unequivocally referable to some such contract as that alleged by the plaintiff, it is said that the "principal idea that is struggling for expression is that the part performance must be clearly evidential of the existence of a contract" (Brown, *Corbin on Contracts*, rev ed (1997), vol 4 at 521).

[49] The view that the court enforces the equities arising from partial performance, rather than the rights conferred by the parol contract itself, while attended with a degree of subtlety, has the powerful merit of being consistent with the Statute of Frauds. The view that part performance is concerned with matters of proof of the parol contract cannot stand with the Statute of Frauds, the evident purpose of which is to prevent the enforcement of a parol contract, however clear may be the proof of its making.

[50] It is not correct to say that Lord Selborne's statement of principle evinces the view that part performance operates as acceptable evidence of the parol contract in question in place of the writing required by the statute. When Lord Selborne spoke of acts "unequivocally … referable" to "some such agreement" (*Maddison v Alderson* (1883) 8 App Cas 467 at 479), his Lordship was not speaking of the particular contract in question. The very circumstance that Lord Selborne spoke of referability to "some such agreement" itself suggests that the requirement is not concerned with proof of the particular contract in question, but with dealings between the parties which in their nature establish that the parties are in the midst of an uncompleted contract for the sale or other disposition of land. Given that part performance is relevant only in relation to contracts for the sale or other disposition of land (cf Heydon, Leeming and Turner, *Meagher, Gummow and Lehane's Equity: Doctrines and Remedies*, 5th ed (2015) at 684), it is not difficult to appreciate that the acts described by Lord Selborne are acts unequivocally and inherently referable to a transaction for the sale or other disposition of the land. Lord Selborne was clear that unequivocal referability is concerned with the proof of acts partially executing a transaction that remains uncompleted, and that proof of the agreement that had been made was not required to show the equity to have the transaction completed.

[51] It is significant in this respect that Lord Selborne expressly adopted the statement of Sir James Wigram V-C in *Dale v Hamilton* (1846) 5 Hare 369 at 381; 67 ER 955 at 960 that it is in general of the essence of an act of part performance:

> that the Court shall, by reason of the act itself, *without knowing whether there was an agreement or not*, find the parties unequivocally in a position different from that which, according to their legal rights, they would be in if there were no contract. (emphasis added)

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[52] In a case where the parties are found, as a matter of fact, to be in that position, equity requires that the transaction be completed notwithstanding the objection of the defendant that the contract itself cannot be enforced by reason of non-compliance with the Statute of Frauds. The requirement for unequivocal referability is essential to Lord Selborne's thesis that the court is not enforcing the contract – that would be contrary to the Statute of Frauds – but the equities generated by its partial performance. It is only where the acts of part performance are inherently and unequivocally referable to such a contract that it cannot be objected that, in truth, and contrary to the legislation, it is the parol contract that is being enforced.

…

[54] The equity to have the transaction completed arises where the acts that are proved are consistent only with partial performance of a transaction of the same nature as that which the plaintiff seeks to have completed by specific performance. At that point, regard may be had to the terms of the oral contract in order to ascertain the appropriate orders by way of specific performance. So, in *Maddison v Alderson* (1883) 8 App Cas 467 at 475-476, Lord Selborne stated that the terms of the parol contract may be taken into account only when the equity to have the transaction carried to completion has been established and it becomes necessary to establish the terms of the order to be made. At that point (at 476):

> "The matter has advanced beyond the stage of contract; and the equities which arise out of the stage which it has reached cannot be administered unless the contract is regarded."

[55] In *McBride v Sandland* (1918) 25 CLR 69 at 77-78, Isaacs and Rich JJ explained that the logical order in which the issues in a case such as the present should be addressed is first to determine whether the acts performed establish the equity and then, and only then, to refer to the terms of the parol agreement in order to ascertain the terms in which the equity is to be enforced.

[56] Applying that reasoning to the present case, because the acts of part performance relied upon by the appellant are consistent with some transaction other than a sale of the Clark Road property, he was not able to show a partially completed sale of the Clark Road property that he was entitled in equity to have fully executed by means of a decree of specific performance.

[57] It also follows from the above that the appellant's contention that Lord Selborne erroneously applied repealed rules of Chancery procedure is incorrect, and must be rejected. On the contrary, his Lordship was expounding a rule of substance calculated to avoid Chancery acting in a manner repugnant to the Statute of Frauds.

Part performance and equitable estoppel

[58] It has been suggested (Heydon, Gummow and Austin, *Cases and Materials on Equity and Trusts*, 3rd ed (1989) at 1042) that "the modern and divergent rules of proprietary and equitable estoppel … secret trusts … and part performance sprang from [the] common root" that a person may not rely on his or her strict legal rights where to do so is against the conscience of equity. But the appellant's invitation to subsume part performance within the development of equitable estoppel fails to appreciate that, while in some cases the doctrines may have an overlapping operation, they do not cover the same ground. While it may well be that equity's concern to prevent unconscientious conduct is the common root of equitable estoppel and part performance, there are discernible differences in the scope and operation of these doctrines as each has developed in Australia.

[59] The first such difference is that part performance may be invoked by a vendor of land to enforce a parol contract (*Turner v Bladin* (1951) 82 CLR 463 at 473), whereas equitable estoppel is available only against a vendor of land to vindicate the interests of a prospective purchaser (cf *Dillwyn v Llewelyn* (1862) 4 De G F & J 517; 45 ER 1285; *Ramsden v Dyson* (1866) LR 1 HL 129).

[60] Next, equitable intervention by way of equitable estoppel to prevent a defendant resiling from a promise that is not enforceable at law is justified, not by the existence of an unperformed or partially performed promise, but by a concern that the plaintiff should not be left to suffer a detriment

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by the defendant's so resiling (*Giumelli v Giumelli* (1999) 196 CLR 101 at 121-122 [35]; *Sidhu v Van Dyke* (2014) 251 CLR 505 at 522-523 [58]). So, in *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387 at 406 Mason CJ and Wilson J noted that, as a general rule, a "failure to fulfil a promise does not of itself amount to unconscionable conduct" and so "mere reliance on an executory promise to do something, resulting in the promisee changing his position or suffering detriment, does not bring promissory estoppel into play." In the same case (at 418-419), Brennan J explained:

> The protection which equity extends is analogous to the protection given by estoppel in pais to which Dixon J referred in *Grundt v Great Boulder* (1937) 59 CLR 641, ie, protection against the detriment which would flow from a party's change of position if the assumption (or expectation) that led to it were deserted.

[61] Thirdly, the nature of the equity enforced by part performance differs from that enforced by equitable estoppel. In some cases of equitable estoppel, the relief granted may require the taking of active steps by the defendant to meet the expectations generated by the transaction (*Dillwyn v Llewelyn* (1862) 4 De G F & J 517; 45 ER 1285; *Ramsden v Dyson* (1866) LR 1 HL 129; *Sidhu v Van Dyke* (2014) 251 CLR 505 at 529 [82]), but in other cases the requirements of good conscience may mean that such an order would not reflect the measure of relief required to protect the plaintiff against the apprehended detriment (*The Commonwealth v Verwayen* (1990) 170 CLR 394 at 441; *Sidhu v Van Dyke* (2014) 251 CLR 505 at 529 [83]). If the doctrine of part performance covered the same ground as equitable or promissory estoppel, one might have expected that there would need to be, in each case where part performance is invoked, an analysis of the extent to which a defendant's attempt to resile from completion of the transaction would result in detriment to the plaintiff, and that the relief granted would be moulded accordingly to prevent that detriment (ff *Crabb v Arun District Council* [1976] Ch 179 at 198). But that has not been the case. Indeed, in the case of part performance, as is apparent from this Court's decision in *Regent v Millett*, there is not even an insistence that there be detrimental reliance on the part of the plaintiff to establish an equity to relief. A defendant's act in putting a plaintiff into possession might not of itself be a detriment to the plaintiff, but there can be no doubt that it is a sufficient act of part performance (*Regent v Millett* (1976) 133 CLR 679 at 682). Where part performance is established the plaintiff will be entitled to a decree of specific performance without needing to establish that a lesser form of relief would be inadequate. In this respect, the operation of part performance may be contrasted with equitable estoppel, where, as Mason CJ and Wilson J noted in *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387 at 405, the plaintiff's equity may be enforced by the grant of relief falling short of an order for the satisfaction of the plaintiff's expectation interest (see also *Sidhu v Van Dyke* (2014) 251 CLR 505 at 528-530 [79]-[86]).

[62] In *Maddison v Alderson* (1883) 8 App Cas 467 at 475, Lord Selborne illustrated his thesis that the defendant "is really 'charged' upon the equities resulting from the acts done in execution of the contract" by the example of:

> a parol contract to sell land, completely performed on both sides, as to everything except conveyance; the whole purchase-money paid; the purchaser put into possession; expenditure by him (say in costly buildings) upon the property; leases granted by him to tenants. The contract is not a nullity … All the acts done must be referred to the actual contract, which is the measure and test of their legal and equitable character and consequences.

[63] His Lordship went on to say (at 476):

> The choice is between undoing what has been done (which is not always possible, or, if possible, just) and completing what has been left undone. The line may not always be capable of being so clearly drawn as in the case which I have supposed; but it is not arbitrary or unreasonable to hold that when the statute says that no action is to be brought to charge any person upon a contract concerning land, it has in view the simple case in which he is

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> charged upon the contract only, and not that in which there are equities resulting from res gestae subsequent to and arising out of the contract.

[64] In the example offered by Lord Selborne it is readily apparent, having regard to the acts performed on the strength of the contract, that a court of equity would regard specific performance of the contract – which, ex hypothesi, would involve only an order for the transfer of the legal title – as the only remedy sufficient to do justice. A contract or other arrangement which remains largely unperformed on both sides may not always have the same claim on the conscience of equity in terms of the remedies provided by the court as a contract which has been performed to the extent of that hypothesised by Lord Selborne (cf *In re Cuming* (1869) LR 5 Ch App 72; *Chang v Registrar of Titles* (1976) 137 CLR 177 at 184-185, 189-190). And so it can be seen that it is something peculiar to part performance that the equity of the plaintiff that arises in reliance upon the partial performance of the contract has been regarded as sufficiently strong, without more, save a readiness, willingness and ability to do equity (*Mehmet v Benson* (1965) 113 CLR 295 at 307-308, 314-315; cf *Langman v Handover* (1929) 43 CLR 334 at 345, 356; *Mayfair Trading Co Pty Ltd v Dreyer* (1958) 101 CLR 428 at 452-453), to support an order for specific performance in order to vindicate the equity of the plaintiff that arises from the part performance of the contract. In *J C Williamson Ltd v Lukey and Mulholland* (1931) 45 CLR 282 at 300, Dixon J, with whom Gavan Duffy CJ agreed, explained why this is so:

> The acts of part performance must be such as to be consistent only with the existence of a contract between the parties, and to have been done in actual performance of that which in fact existed. But in such a case the equity which so arises is to have the entire contract carried into execution by both sides. Because the acts done upon the faith of the contract could not have taken place if it had not been made, and the contract is of a kind which it is considered equitable to enforce in specie, a party who has so acted in partial execution of the contract obtains an equity to its complete performance.

[65] Lord Selborne's requirement that the acts of part performance relied upon be unequivocally referable to a contract of the kind asserted by the plaintiff is best understood as being necessary to give rise to this peculiarly strong equity. His Lordship said (*Maddison v Alderson* (1883) 8 App Cas 467 at 478):

> the rule … requires some evidentia rei to connect the alleged part performance with the alleged agreement. There is not otherwise enough in the situation in which the parties are found to raise questions which may not be solved without recourse to equity. It is not enough that an act done should be a condition of, or good consideration for, a contract, unless it is, as between the parties, such a part execution as to change their relative positions as to the subject-matter of the contract.
>
> …

The result in the present case

[77] It was argued in the written submissions made on the appellant's behalf that even if the unequivocal referability requirement were applied he should succeed on the appeal; but in the course of oral argument, it was conceded that, if Lord Selborne's approach were applied to the circumstances of this case, the acts on which the appellant relied at trial and before the Full Court would not suffice as acts of part performance. That concession was rightly made.

[78] In *Cooney v Burns* (1922) 30 CLR 216 at 244, Starke J fixed upon the statement of Lord Selborne (*Maddison v Alderson* (1883) 8 App Cas 467 at 478) that an act is not a sufficient act of part performance "unless it is, as between the parties, such a part execution as to change their relative positions as to the subject-matter of the contract." Starke J went on to conclude ((1922) 30 CLR 216 at 244; see also at 236-238 per Isaacs J, 240-241 per Higgins J) that the act relied on in the case before him by way

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of part performance was not sufficient to support an order for specific performance because it did not "change the relative positions of the parties as to the subject matter of the contract, namely, the land"; in particular, the acts in question did not "alter the title in the land … affect the possession or the right to possession of the land, [or] … affect the use of the land or touch or concern the land in any way whatever."

[79] Similar observations may be made in the present case. Here, neither party performed any act that was unequivocally referable to the Clark Road property. There was no giving or taking of possession of that land. There were no other acts indicative of a change in the respective positions of the parties in relation to the land. The Full Court was therefore correct to conclude that the acts on which the appellant relied were not sufficient to engage the doctrine of part performance.

Conclusion and orders

[80] Considerations of authority and principle combine to require that the appellant's contention be rejected.

[NETTLE and GORDON JJ and EDELMAN J delivered separate judgments exploring the history and nature of the part performance doctrine. Their Honours agreed that the unequivocal referability requirement should be maintained and that the appeal should be dismissed.]

Appeal dismissed.

[7.115] **Note**

The doctrine of part performance has been abolished in the United Kingdom by the *Law of Property (Miscellaneous Provisions) Act 1989* (c 34), s 2(8). Section 2(1) of that Act provides that: "A contract for the sale or other disposition of an interest in land can only be made in writing and only by incorporating all the terms which the parties have expressly agreed in one document or, where contracts are exchanged, in each." See *Yaxley v Gotts* [2000] Ch 162, 171–2.

Constructive trust, estoppel, misleading conduct and restitution

[7.125] One result of the difficulties facing a plaintiff forced to rely on the doctrine of part performance has been an increased focus on alternative causes of action, such as constructive trust, estoppel, misleading or deceptive conduct and restitution.

1. Constructive trust was successfully relied upon as an alternative to part performance in *Ogilvie v Ryan* [1976] 2 NSWLR 504.
2. Reliance on the doctrine of estoppel is illustrated by the decision of the High Court in *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387 at [9.35]. See further *Riches v Hogben* (1986) 1 Qd R 315; *Colin v Holden* [1989] VR 510; *Powercell Pty Ltd v Cuzeno* [2004] NSWCA 51.
3. On the possibility of relying on misleading or deceptive conduct, see *Futuretronics International Pty Ltd v Gadzhis* [1992] 2 VR 217 at [33.155].

4. If a plaintiff pays money or provides goods or services under a verbal contract which is rendered unenforceable by legislation, an action in restitution may be available; see *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221 at [10.20]. As indicated in *Pavey & Matthews Pty Ltd v Paul*, the wording of a statutory provision may be sufficiently wide to exclude *any* claim by a contracting party who fails to comply with the relevant statutory formalities. Compare *Stevastopoulos v Spanos* [1991] 2 VR 194; *Mostia Constructions Pty Ltd v Cox* [1994] 2 Qd R 55; *Sutton v Zullo Enterprises Pty Ltd* [1998] QCA 417; [2000] 2 Qd R 196.

CHAPTER ***8***

Capacity

[8.05] The classes of persons lacking contractual capacity are minors, some people with cognitive disabilities and the intoxicated. The law denies such persons contractual capacity in order to protect them from assuming contractual obligations in circumstances where they may not have been able to assess whether those contracts were in their own best interests.

In all jurisdictions in Australia, 18 is the age of majority. Persons below that age are described either as infants or minors. Legislation in all Australian jurisdictions regulates the status of contracts made with persons lacking contractual capacity. See further:

Necessaries

Sale of Goods Act 1954 (ACT), s 7; *Sale of Goods Act* (NT), s 7; *Sale of Goods Act 1896* (Qld), s 5; *Sale of Goods Act 1895* (SA), s 2; *Sale of Goods Act 1896* (Tas), s 7; *Goods Act 1958* (Vic), s 7; *Sale of Goods Act 1895* (WA), s 2.

Repudiation, Ratification and Void Contracts

Mercantile Law Act 1962 (ACT), s 15; *Statute of Frauds (Amendment) Act 1828* (UK) (applying in NT and WA); *Minors Contracts (Miscellaneous Provisions) Act 1979* (SA), ss 3–8; *Minors Contracts Act 1988* (Tas), ss 3, 4; *Supreme Court Act 1986* (Vic), ss 50, 51; *Minors (Property and Contracts) Act 1970* (NSW), ss 6, 8–9, 16–39, 47–48.

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CHAPTER **9**

Estoppel

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INTRODUCTION AND HISTORY OF ESTOPPEL

[9.05] Estoppels by conduct create rights where promises and representations have been relied upon. The original form of estoppel by conduct was estoppel by representation, which is sometimes referred to as estoppel in pais, or common law estoppel. An estoppel by representation arises where one person (the inducing party) leads another (the relying party) to adopt an assumption of fact, and the relying party acts on that assumption in such a way that the relying party will suffer detriment if the representor subsequently denies that it is true. (See eg, *Thompson v Palmer* (1933) 49 CLR 507; *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641.) Assume, for example, that a builder has negotiated the terms of a building contract with a customer, with the parties intending to be bound only when a written contract has been signed. The builder prepares a written contract, signs it, and sends it to the customer. The customer telephones the builder and tells the builder that the customer has signed the contract. On the faith of that assurance, the builder purchases materials for the job and rejects other offers of work during the relevant period. The customer has induced the builder to adopt an assumption of fact (that the customer has signed the contract). That assumption has been relied upon by the builder (by purchasing materials and refusing other work) such that the builder will suffer detriment if the purchaser now denies having signed the contract. The customer is therefore "estopped" from denying that she has signed the contract. The effect of the estoppel is that the rights of the parties are determined on the basis of the assumed state of affairs; that is, on the basis that the contract has been signed, even though it has not.

A relying party will commonly rely on a promise or representation relating to the representor's *future conduct*, rather than a representation of *existing fact*. A relying party might, for example, be induced to act on an assumption that the representor will behave in a particular way in the future, such as:

- an assumption that the representor will enter into a contract with the relying party at some time in the future;
- an assumption that the representor will transfer land, pay money or provide another benefit to the relying party; or

- an assumption that the representor will not enforce certain contractual rights against the relying party. The representor might, for example, be a landlord who agrees with a tenant that in future she will accept a reduced rental.

Up until the middle of the 19th century, courts of equity exercised a jurisdiction to "make representations good", and this jurisdiction was exercised in relation to representations relating to the future conduct of the representor (see eg, *Hammersley v De Biel* (1845) 12 Cl & F 45; 8 ER 1312). In *Jorden v Money* (1854) 5 HLC 185; 10 ER 882, 886, however, the House of Lords held that the doctrine applies only to representations of fact and does not apply to a statement of what a party intends to do. This decision has been strictly applied at common law. In equity, however, two forms of estoppel developed, effectively as exceptions to the rule in *Jorden v Money*, although they were not acknowledged as such. The first was a set of principles that became known as proprietary estoppel. These principles operated where a party had been induced by a landowner to believe that he or she had or would be granted an interest in land. Where the relying party acted to his or her detriment on the faith of that belief (typically by building on the land), these acts raised an "equity" (or entitlement to equitable relief) against the landowner (see eg, *Dillwyn v Llewelyn* (1862) 4 De GF & J 517; 45 ER 1285; *Ramsden v Dyson* (1866) LR 1 HL 129).

The second was the principle of promissory estoppel, which emerged from *Hughes v Metropolitan Railway Co* (1877) 2 App Cas 439 and *Birmingham and District Land Company v London and North Western Railway Co* (1889) 40 Ch D 268 and was revived by Denning J in *Central London Property Trust v High Trees House* [1947] 1 KB 130. This principle operated where a party to a contract promised that certain contractual rights would not be enforced. Where the promise was intended to be binding or intended to be acted on and was acted on by the promisee, a court of equity would refuse to allow the promisor to enforce the rights in question, at least without giving the promisee a chance to resume her or his original position.

This chapter will trace the development of equitable estoppel in Australian law by setting out some of the more important and interesting cases, mostly in chronological order. One of the first Australian cases in which the principle of promissory estoppel was applied was *Je Maintiendrai Pty Ltd v Quaglia* (1980) 26 SASR 101. Since this case involved a promise by a landlord to accept a reduced rental, it could clearly be accommodated within the principle of promissory estoppel in its narrowest formulation. The estoppel arose from a promise not to enforce contractual rights, and was relied upon as a defence to the landlord's attempt to enforce those rights. The crucial questions for the court were: first, whether the principle of promissory estoppel formed part of Australian law, secondly, whether detriment was required and, thirdly, whether the tenant had suffered detriment.

THE DEVELOPMENT AND ELEMENTS OF EQUITABLE ESTOPPEL

Je Maintiendrai v Quaglia

[9.10] *Je Maintiendrai Pty Ltd v Quaglia* (1980) 26 SASR 101 (Supreme Court of South Australia in Banco) – Appeal from Local Court.

[FACTS: The *respondent* tenant operated a hairdressing business in a shopping centre owned by the *appellant* landlord. There was little demand for shops in the shopping centre and the landlord had experienced some difficulty in finding and keeping tenants. The landlord and tenant signed a

Je Maintiendrai v Quaglia cont.

three-year lease fixing the rent for the shop at $278 per month, to be increased annually in accordance with rises in the consumer price index. Some months after the lease was signed the landlord agreed to a reduced rent of $240 per month for an indefinite period. The landlord accepted the reduced rent until the tenant sought to vacate the premises. The landlord then claimed the accumulated arrears of rent (ie, the difference between the total amount paid by the tenant and the total amount payable under the terms of the written lease). The trial judge held that the landlord was estopped from claiming this amount. The landlord appealed to the Supreme Court.]

KING CJ: [102] The issue on this appeal is whether the appellant, having told the respondents that their rent was reduced, is estopped from recovering from the respondents as arrears of rent the additional amount which would have been due under the lease but for the reduction. The facts are set out in the judgment of White J.

The appellant's promise to reduce the rent has no contractual force because it was made without consideration. The acceptance of a sum which is less than that legally due is not binding and does not extinguish liability for the balance unless there is fresh consideration: *Foakes v Beer* (1884) 9 App Cas 605. The evidence does not disclose fresh consideration. The respondents' case therefore rests upon an estoppel to which the facts are alleged to give rise.

Few areas of law have given rise to more controversy in the last few decades than the area of promissory estoppel. There is a question as to whether the very notion of estoppel based upon promise or statement of future intention has any place in our law. It appears to run directly counter to the decision of the House of Lords in *Jorden v Money* (1854) 5 HLC 185;10 ER 868. That case appeared to decide that to found an estoppel a representation of existing fact was required as contrasted with a mere expression of future intention; see *Craine v Colonial Mutual Fire Insurance Co Ltd* (1920) 28 CLR 305, per Isaacs J at 324; *Franklin v Manufacturers Mutual Insurance Ltd* (1935) 36 SR (NSW) 76, per Jordan [103] CJ at 82. Yet twenty-three years after *Jorden v Money* (1854) 5 HLC 185;10 ER 868, Lord Cairns LC in *Hughes v Metropolitan Railway Co* (1877) 2 App Cas 439, 448 was able to say:

> … it is the first principle upon which all Courts of Equity proceed, that if parties who have entered into definite and distinct terms involving certain legal results — certain penalties or legal forfeiture — afterwards by their own act or with their own consent enter upon a course of negotiation which has the effect of leading one of the parties to suppose that the strict rights arising under the contract will not be enforced, or will be kept in suspense, or held in abeyance, the person who otherwise might have enforced those rights will not be allowed to enforce them where it would be inequitable having regard to the dealings which have thus taken place between the parties.

The principle of equity expressed by Lord Cairns in that passage was applied by the Court of Appeal in *Birmingham and District Land Company v London and North Western Railway Co* (1889) 40 ChD 268. Bowen LJ, referring to the principle enunciated by Lord Cairns, said:

> It seems to me to amount to this, that if persons who have contractual rights against others induce by their conduct those against whom they have such rights to believe that such rights will either not be enforced or will be kept in suspense or abeyance for some particular time, those persons will not be allowed by a Court of Equity to enforce the rights until such time has elapsed, without at all events placing the parties in the same position as they were before ((1889) 40 ChD, at p 286).

The notion of promissory estoppel was given a modern formulation and a new impetus by the decision of Denning J (as he then was) in *Central London Property Trust Ltd v High Trees House Limited* [1947] KB 130, where it was said at p 134 to be the "natural result of the fusion of law and equity". The doctrine has been expounded by Lord Denning in a number of subsequent cases. It has been recognized and confirmed by the House of Lords: *Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd* [1955] 1 WLR 761. In *Woodhouse Ltd v Nigerian Produce Ltd* [1972] AC 741, 758. Lord Hailsham recognized the

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doctrine as "an expanding doctrine" which raised "problems of coherent expression which have never been systematically explored". The doctrine has received recognition in New Zealand: *Commissioner of Inland Revenue v Morris* [1958] NZLR 1126; *McCathie v McCathie* [1971] NZLR 58, especially at p 71.

The learned authors of the third Australian edition of Cheshire and Fifoot on the *Law of Contract* (1974) maintain that the High Court has rejected the doctrine and that promissory estoppel forms no part of the law of Australia. The learned authors rely, in support of that contention on *Albert House Ltd (In Voluntary Liquidation) v Brisbane City Council* (1968) 42 ALJR 158. … [104] On the view taken of the case in the High Court, the question of promissory estoppel did not arise. I do not think that the case can be regarded as a rejection of the doctrine of promissory estoppel. The learned authors of Cheshire and Fifoot also rely upon the Privy Council case *Chadwick v Manning* [1896] AC 231. This was an appeal from a decree made by the Chief Judge in Equity in the Supreme Court of New South Wales in a suit to restrain a guarantor from proceeding at law to enforce an indemnity against his co-guarantor on the ground that the co-guarantor had altered his position on the faith of a representation that the indemnity would not be enforced. The Privy Council held that there had been no such representation, but also held, endorsing *Jorden v Money* (1854) 5 HLC 185;10 ER 868, that a representation as to intention as distinct from existing fact could not found an estoppel. The latter holding inconsistent, however, with the subsequent Privy Council case of *Ajayi v RT Briscoe (Nigeria) Ltd* [1964] 1 WLR 1326.

In *Ajayi v RT Briscoe (Nigeria) Ltd* [1964] 1 WLR 1326 the Privy Council clearly and unequivocally recognized estoppel arising from promise or statement of intention, as part of the law, although it did not find the necessary conditions to be present in that case. I think that until the question is dealt with by the High Court, this Court should treat the formulation of the principle in *Ajayi's* case [1964] 1 WLR 1326 as authoritative. In that case the Privy Council formulated the principle as follows:

> Their lordships are of opinion that the principle of law as defined by Bowen LJ has been confirmed by the House of Lords in the case of the *Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd* [1955] 1 WLR 761, where the authorities were reviewed, and no encouragement was given to the view that the principle was capable of extension so as to create rights in the promises for which he had given no consideration. The principle, which has been described as quasi estoppel and perhaps more aptly as promissory estoppel, is that when one party to a contract in the absence of fresh consideration agrees not to enforce his rights an equity will be raised in favour of the other party. This equity is, however, subject to the qualification (1) that the other party has altered his position, (2) that the promisor can resile from his promise on giving reasonable notice, which need not be a formal notice, giving the promisee a reasonable opportunity of resuming his position, (3) the promise only becomes final and irrevocable if the promisee cannot resume his position. [1964] 1 WLR 1326, 1330

[9.15] It is clear from the above formulation that there can be no estoppel unless the promisee has altered his position on the faith of the promise. Lord Denning maintains that it is sufficient that the promisee has acted upon the promise and that in the case of promissory estoppel, unlike estoppel by representation, detriment to the promisee is unnecessary: *WJ Alan Ltd v El Nasr Export and Import Co* [1972] 2 QB 189. The rule in the case of estoppel by representation of an existing fact is clear. The representor is estopped only if the representee would suffer a detriment in the event of the representor being permitted to set up rights against the representee inconsistent with the representation. The principle upon which estoppel in pais is founded, as expressed by Dixon J in *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641, 674, "is that the law should not permit an unjust departure by a party from an assumption of fact which he has caused another party to adopt or accept for the purpose of their legal relations". The principle upon which estoppel arising from a promise or statement of intention is founded, as expressed by Lord Cairns LC in *Hughes v Metropolitan Railway Co* (1877) 2 App Cas 439, is that "the person who otherwise might have enforced those rights will not be allowed to enforce them where it would be inequitable having regard to the dealings which have thus taken place between the parties". The basic principle underlying both types of estoppel

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is, I apprehend, the same. It rests upon the injustice to the representee or promisee of allowing the representor or promisor, in the circumstances which exist, to depart from the representation or promise. If the representee or promisee will suffer no detriment as a consequence of the other party resiling from his position and asserting his strict legal rights, it is difficult to see where the injustice of permitting him to do so would lie. I can see no valid reason for making a distinction between these two types of estoppel in this respect. In my opinion, a person who promises or states his intention to another not to enforce or insist upon his legal rights is not estopped from resiling from that position and reverting to the strict legal position, unless his doing so would result in some detriment and therefore some injustice to that other.

In the present case there was an intimation that the rent legally due under the lease was reduced. This clearly amounts to a promise not to enforce the legal right to the difference between the reduced amount and the amount legally due. It is not disputed that the appellant was entitled to revert to the strict legal position as to future payment upon giving due notice. The claim in the action relates to the difference between the reduced amount and that legally due from the time the intimation was given and the time when it was clear that the appellant required payment in full. Whether on the facts the appellant might have been permanently estopped does not therefore fall for decision. What must be decided is whether, if the appellant were allowed to recover the arrears, the respondents would suffer a detriment which renders it unjust that the appellant should be permitted to do so.

The learned trial Judge found that the respondents would suffer a detriment as a result of being faced with a lump sum liability. I quote his reasons:

> That it is often easier for people to make small periodical payments than to find a lump sum is obvious, and there is no need to point to the use by many people of installment credit facilities, on which extra costs incurred in respect of the credit charge, to pay for houses, goods or services. Where, as in the present case the plaintiff has agreed to forego, and not merely to defer, the receipt of part of the future payments contractually due he cannot, without prejudicing the defendant, subsequently demand as a lump sum all the money which would have been paid by past installments had the plaintiff not agreed to accept less. In the present case, instead of having to find a comparatively small sum of money every month, which the defendants were, though not without difficulty, able to do, they were in fact, after almost eighteen months being lulled to sleep, suddenly faced with demand to pay a large sum of accumulated "arrears" …

The evidence as to detriment is sparse. The respondents' case would be stronger if there were evidence of financial hardship or embarrassment as a result of the debt accumulating or, as in *Holt v Markham* [1923] 1 KB 504, that the money had been spent in other ways and that the respondent were unable to pay, at any rate without difficulty or inconvenience. It would be stronger if there were evidence that they had conducted their affairs differently as a result of the reduction, for example that they had refrained from exploring the possibility of selling the business and assigning the lease. The sparsity of evidence of detriment has caused me to consider anxiously whether the learned Judge's conclusion can be supported. In the end I have reached the conclusion that we should not disturb it. The respondents conducted a small business. There was some evidence of their financial position and the learned trial Judge heard it given. He was in a better position that is this Court to judge whether the accumulation of arrears of this magnitude would be a detriment to the respondents' failure to say so expressly. I think that we should accept the conclusion which he reached.

In my opinion, therefore, the appeal should be dismissed.

[9.20] WHITE J [White J stated the facts, cited a range of views as to whether detriment is a necessary element of promissory estoppel and continued]: [113] In [*Thompson v Palmer* (1933) 49 CLR 507, 547] Dixon J, said:

> The principle upon which estoppel in pais is founded is that the law should not permit an unjust departure by a party from an assumption, of fact which he has caused another party

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> to adopt or accept for the purpose of their legal relations. This is, of course, a very general statement. But it is the basis of the rules governing estoppel. Those rules work out the more precise grounds upon which the law holds a party disentitled to depart from an assumption in the assertion of rights against another. One condition appears always to be indispensable. That other must have so acted or abstained from acting upon the footing of the state of affairs assumed that he would suffer a detriment if the opposite party were afterwards allowed to set up rights against him inconsistent with the assumption. In stating this essential condition, particularly where the estoppel flows from representation it is often said simply that the party asserting the estoppel must have been induced to act to his detriment. Although substantially such a statement is correct and leads to no misunderstanding, it does not bring out clearly the basal purpose of the doctrine. That purpose is to avoid or prevent a detriment to the party asserting the estoppel by compelling the opposite party to adhere to the assumption upon which the former acted or abstained from acting, This means that the real detriment or harm from which the law seeks to give protection is that which would flow from the change of position if the assumption were deserted that led to it. So long as the assumption is adhered to, the party who altered his situation upon the faith of it cannot complain. His complaint is that when afterwards the other party makes a different state of affairs the basis of an assertion of right against him then, if it is allowed, his own original change of position will operate as a detriment. His action or inaction must be such that, if the assumption upon which he proceeded were shown to be wrong, and an inconsistent state of affairs were accepted as the foundation of the rights and duties of himself and the opposite party, the consequence would be to make his original act of failure to act a source of prejudice. Thus, when, in *Holt v Markham* [1923] 1 KB 504 the fact that the defendant had spent the money sued for, believing it to be his [114] own to spend, was treated as a sufficient alteration of his position to estop the plaintiff from departing from the assumption which he had induced, the harm or detriment giving rise to the estoppel was that which would be done by requiring the defendant to repay money which he no longer had.

Dr Turner [in Spencer Bower and Turner, *Estoppel by Representation*, 3rd ed, 1977] insists upon some detriment but makes the important point that it is only to be judged as at the moment when the promisor proposes to resile from his representation. He said (par 114):

> Whether the representee has "altered his position" by way of positive change, or merely by refraining from some action which otherwise he would have been at liberty to take, he must be able to show "detriment", which as we have seen is some prejudicial effect upon his temporal interests. But it is of the utmost importance to notice that the "detriment" which the representee must be shown to have suffered is judged only at the moment when the representor proposes to resile from his representation. It has been pointed out by Dixon J in the course of his enunciation of the principles governing this part of the subject contained in his judgment in *Grundt v The Great Boulder Pty Gold Mines Ltd* (1938) 59 CLR 641 that in measuring the detriment, or demonstrating its existence, one does not compare the position of the representee, before and after acting upon the representation, upon the assumption that the representation is to be regarded as true. So long as the assumption continues to be regarded by the parties as true, the question of estoppel does not arise. It is only when the representor wishes to disavow the assumption contained in his representation that an estoppel arises, and the question of detriment is considered, accordingly, in the light of the position which the representee would be in if the representor were allowed to disavow the truth of the representation.

After quoting the above passage from Dixon J in *Grundt's* case, Dr Turner goes on: "The test of detriment, in a word, is whether it appears unjust or inequitable that the representor should now be allowed to resile from his representation, having regard to what the representee has done, or refrained from doing, in reliance on the representation." And at par 353, Dr Turner deals with the argument that it is not necessary for an alteration of position to amount to detriment. He refers to

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Lord Denning's article in the *Modern Law Review* vol 15, and to his rejection of detriment in *WJ Alan & Co Ltd v El Nasr Export and Import Co* [1972] 2 QB 189.

Dr Turner then goes on (pages 392-3) with the reconciliation of the cases which appeals to me. He said:

> … When the alteration of position in [*Central London Property Trust Ltd v High Trees House Ltd* [1947] KB 130] is looked at, it is clear enough that it consisted of much more than "having an extension of time and paying less"; the tenant elected to continue liable as tenant, and to pay rent, albeit at a lesser rate than he must have paid without the assurance. It is submitted that by choosing to continue paying rent, albeit a less rent, in the particular circumstances in which the war had affected the tenancy, and in electing to continue liable as tenant in reliance on the lessor's assurance that a less rent would be accepted in satisfaction, the tenant had altered his position so that, judging the matter at the date when the lessor proposed to resile from the arrangement, it would have been inequitable — and inequitable in the highest degree — for the Court to condone such a course of action. This is exactly as Dixon J explained the nature of "detriment" in estoppel cases.

With respect, I accept and adopt Dr Turner's analysis, which is in line with Dixon J's analysis in *Grundt's* case (1938) 59 CLR 641. In particular, Dr Turner points out that by choosing to continue paying rent, albeit a less rent, in the particular circumstances and in electing to continue liable, as tenant in reliance on the lessor's assurance that a less rent would be accepted in satisfaction, the tenant had altered his position so that, judging the matter at the date when the lessor proposed to resile from the arrangement, it would have been inequitable for the court to condone such an action. That is precisely the position here. Although the tenant was bound in contract by the terms of the lease to continue to pay the rent and observe the covenants in any event, it cannot be denied that the tenant would have had other choices open to him if the landlord had refused to reduce the rent on request. The tenant might have chosen to abandon the shop altogether like many other tenants of other shops and to have taken his chances about being sued for breach of contract; or he might have looked around for another tenant to whom he could assign the balance of his lease and the landlord could not have unreasonably or capriciously refused the assignment. By acting upon the landlord's promise of reduced rental, he continued in possession and lost his chances to adopt these alternatives. In other words, the tenant ordered his affairs on the basis that the promise would not be resiled from. Looking at the matter as from the moment of demand of a large lump sum, it would in my view be unjust in the extreme to allow the landlord to resile from that promise and demand money which he had said would not be demanded. The tenant had no doubt spent the money on other things and did not have it readily available to meet the lump sum. For these reasons I agree with Judge Rogerson that the landlord is, in the circumstances, estopped from claiming the alleged arrears of rent, and I would dismiss the appeal with costs.

[9.25] COX J (dissenting) [referred to the requirement of detriment, reviewed the relevant evidence and continued]: [120] I have set out all the evidence that might be thought to have any bearing upon the defense of promissory estoppel. It seems to me impossible to wring any positive detriment to the respondent out of this evidence. It is not as though the matter came up unexpectedly, so that some allowance should be made for a possible difficulty on the part of a witness in finding the right words on the spur of the moment. The chief defense pleaded by the respondent was this matter of estoppel. So far as the respondent was concerned, that was what the case was about. In view of the attention given to the topic in cross-examination, it should perhaps be emphasized that it is not in any hardship in meeting the higher rent month by month in accordance with the lease, that any detriment to the respondent is to be sought. That is simply the background against which later events unfolded. What is relevant to the present question is the contrast between the respondent paying the additional rent each month in the normal way and (if the appellant has his way) the respondent having to find all the arrears in a single payment now. Would that belated, unexpected demand by the appellant give rise to a detriment to the respondent? Had the respondent so changed his position in the meantime that it would be inequitable to require him now to pay the arrears? As I have said, the

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burden of establishing his defense rested upon the respondent. The bare monetary obligation could not constitute a detriment in the relevant sense. Something additional to that was needed. However, what the respondent said in evidence hardly amounted to any more than the assertions that the new rent was too high and that he found it harder to pay a higher rent than a lower one. That is readily understandable, but it has little to do with the equitable defense. Evidence, direct or indirect, about the respondent's position at the time the appellant made its demand for the arrears, compared with his position when the oral agreement was made, is practically non-existent. The only way in which it could possibly be said to disclose a detriment to the respondent, in my opinion, is by so attenuating the word as to deprive it of any real meaning.

The way in which the learned trial Judge resolved the problem is set out in the passage from his judgment that is quoted in the reasons of the Chief Justice. In short, his Honour recognized that many people in the respondent's position would have been misled into spending the money, represented by the monthly saving of rent, on something else that they would not otherwise have bought, and so would have had difficulty in repaying the arrears when they were demanded. He then silently assumed that this was, in fact, the respondent's situation. But that, as it seems to me, cannot, in view of the evidence, be any more than conjecture on his Honour's part. It is no doubt possible that the respondent would suffer considerable hardship if he were required to pay the arrears of rent upon demand. It is also possible that he would suffer no hardship at all. He may, for all that appears in the evidence, have conducted his affairs after the rent reduction in exactly the same way as he would have conducted them [121] had no reduction ever been made. It seems wrong to me that the Court should find that the respondent has made out his defense simply by devising possible alternative courses of action, and speculating about possible detrimental consequences, and then gratuitously attributing them all to someone who declined – or, it may well be, was unable – to give evidence of them for himself. The doctrine of promissory estoppel is a salutary corrective to an otherwise undesirable rigidity in the law of contract, but I do not think that it should be applied as liberally as that.

The principles upon which an appellate court proceeds require us to act upon our own judgment in such a case as this. For the reasons I have given, I am of the opinion that the respondent did not prove that he would suffer any detriment were he required to pay the arrears of rent, or (to use the language of Bowen LJ) that the parties cannot be placed in the same position as they were in before. He therefore failed to make out this ground of defense. Accordingly, I would allow the appeal and vary the trial Judge's award.

Appeal dismissed.

[9.30] In *Legione v Hateley* (1983) 152 CLR 406, the High Court of Australia recognised that promissory estoppel was part of Australian law. Promissory estoppel could prevent a representor exercising contractual rights (such as the right to terminate a contract) which a relying party had been led to believe would not be enforced. In *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387, the High Court was asked to take promissory estoppel one step further. The question was whether promissory estoppel could be used where there was no pre-existing legal relationship between the parties, but the representor had implicitly promised to enter into a contract with the relying party. This case illustrates the boundary between estoppel by representation (or common law estoppel) and equitable estoppel, since there was some question whether the relying party had been led to believe that the contract *had been* signed (raising the application of estoppel by representation) or *would be* signed (raising the application of promissory or equitable estoppel). The unity of principle between the two forms of equitable estoppel (promissory estoppel and proprietary estoppel) was also recognised in this case.

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[9.35] *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: Negotiations were held between the Mahers (the *respondents*) and Waltons Stores (the *appellant*) for the lease by Waltons of premises to be built by 15 January 1984 by Maher to plans which would suit Waltons' purposes. On 21 October 1983, Waltons' solicitors sent to Maher's solicitor (a Mr Elvy) a form of deed of agreement with a draft lease annexed, but reserved the right to make amendments. Various negotiations followed and Maher indicated that he was beginning to demolish an old building on the site. On 7 November, Maher's solicitor pointed out that the agreement had to be completed quickly if Maher was to complete the building by 15 January. He also said that Maher did not wish to begin demolition of a newly constructed brick portion of the old building until there was agreement. On the same day, Waltons' solicitors sent to Maher's solicitor new documents with a covering letter which stated: "You should note that we have not yet obtained our client's specific instructions to each amendment requested, but we believe that approval will be forthcoming. We shall let you know tomorrow if any amendments are not agreed to." No such indication was forthcoming.

On 11 November, Maher's solicitor returned "by way of exchange" the deed of agreement duly executed by Maher. Maher commenced demolition of the brick section of the old building which fact was known to Waltons by 10 December.

Waltons meanwhile, having changed their commercial plans, instructed their solicitors to "go slow". The solicitors therefore retained the deed of agreement executed by Maher and did not correspond further with Maher's solicitor. In early January 1984, Maher commenced building. On 19 January 1984, Waltons informed Maher that they did not intend to proceed with the lease. Maher sought a declaration that a binding agreement existed, specific performance and, alternatively, damages. At first instance, Kearney J awarded Maher damages on the basis that Waltons were estopped from denying the existence of a binding contract and this judgment was upheld by the Court of Appeal. Waltons appealed to the High Court.]

MASON CJ AND WILSON J: [397] The estoppel set up by the respondents and found by the primary judge was a common law estoppel in the form of a representation by the appellant constituted by its silence in circumstances where it should have spoken. Likewise, the Court of Appeal based the estoppel on common law principles as explained by Dixon J in [398] *Thompson v Palmer* (1933) 49 CLR 507, 547 and *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641, 674-6 …

Our conclusion that the respondents assumed that exchange of contracts would take place as a matter of course, not that exchange had in fact taken place, undermines the factual foundation for the common law estoppel by representation found by Kearney J and the common law estoppel based on omission to correct a mistake favoured by the Court of Appeal. There is, as Mason and Deane JJ pointed out in *Legione v Hateley* (1983) 152 CLR 406, 432, a long line of authority to support the proposition that, to make out a case of common law estoppel by representation, the representation must be as to an existing fact, a promise or representation as to future conduct being insufficient …

[399] If there is any basis at all for holding that common law estoppel arises where there is a mistaken assumption as to future events, that basis must lie in reversing *Jorden v Money* (1854) 5 HLC 185 and in accepting the powerful dissent of Lord St Leonards in that case. The repeated acceptance of *Jorden v Money* over the years by courts of the highest authority makes this a formidable exercise. We put it to one side as the respondents did not present any argument to us along these lines.

This brings us to the doctrine of promissory estoppel on which the respondents relied in this court to sustain the judgment in their favour. Promissory estoppel certainly extends to representations (or promises) as to future conduct: *Legione* at 432. So far the doctrine has been mainly confined to precluding departure from a representation by a person in a pre-existing contractual relationship that he will not enforce his contractual rights, whether they be pre-existing or rights to be acquired as a result of the representation … But Denning J in *Central London Property Trust Ltd v High Trees House Ltd* [1947] KB 130, 134-5, treated it as a wide-ranging doctrine operating outside the

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pre-existing contractual relationship. In principle there is certainly no reason why the doctrine should not apply so as to preclude departure by a person from a representation that he will not enforce a non-contractual right.

[400] There has been for many years a reluctance to allow promissory estoppel to become the vehicle for the positive enforcement of a representation by a party that he would do something in the future. Promissory estoppel, it has been said, is a defensive equity … and the traditional notion has been that estoppel could only be relied upon defensively as a shield and not as a sword … *High Trees* itself was an instance of the defensive use of promissory estoppel. But this does not mean that a plaintiff cannot rely on an estoppel. Even according to traditional orthodoxy, a plaintiff may rely on an estoppel if he has an independent cause of action, where in the words of Denning LJ in *Combe v Combe* [1951] 2 KB 215, 220, the estoppel "may be part of a cause of action, but not a cause of action in itself".

But the respondents ask us to drive promissory estoppel one step further by enforcing directly in the absence of a pre-existing relationship of any kind a non-contractual promise on which the representee has relied to his detriment. For the purposes of discussion, we shall assume that there was such a promise in the present case. The principal objection to the enforcement of such a promise is that it would outflank the principles of the law of contract. Holmes J expressed his objection to the operation of promissory estoppel in this situation when he said: "It would cut up the doctrine of consideration by the roots, if a promisee could make a gratuitous promise binding by subsequently acting in reliance on it": *Commonwealth v Scituate Savings Bank* (1884) 137 Mass 301, 302 …

[402] Some recent English decisions are relevant to this general [403] discussion. *Amalgamated Property Co v Texas Bank* [1982] QB 84 in the Court of Appeal and *Pacol Ltd v Trade Lines Ltd* [1982] 1 Lloyd's Rep 456, are instances of common law or conventional estoppel. However, the comment of Goff J in *Texas Bank* at first instance (at 107) is significant. His Honour observed:

> Such cases are very different from, for example, a mere promise by a party to make a gift or to increase his obligations under an existing contract; such promise will not generally give rise to an estoppel, even if acted on by the promisee, for the promisee may reasonably be expected to appreciate that, to render it binding, it must be incorporated in a binding contract or contractual variation, and that he cannot therefore safely rely upon it as a legally binding promise without first taking the necessary contractual steps.

The point is that, generally speaking, a plaintiff cannot enforce a voluntary promise because the promisee may reasonably be expected to appreciate that, to render it binding, it must form part of a binding contract.

Crabb v Arun District Council [1976] Ch 179 was an instance of promissory estoppel. It lends assistance to the view that promissory estoppel may in some circumstances extend to the enforcement of a right not previously in existence where the defendant has encouraged in the plaintiff the belief that it will be granted and has acquiesced in action taken by the plaintiff in that belief. There the defendants, knowing of the plaintiff's intention to sell his land in separate portions, encouraged the plaintiff to believe that he would be granted a right of access over their land and, by erecting gates and failing to disabuse him of his belief, encouraged the plaintiff to act to his detriment in selling part of the land without reservation of a right of way. This raised an equity in favour of the plaintiff which was satisfied by granting him a right of access and a right of way over the defendants' land. The Court of Appeal deduced from the circumstances an equity in the plaintiff to have these rights without having to pay for them. As Oliver J pointed out in *Taylors Fashions Ltd v Liverpool Victoria Trustees Co Ltd* [1982] QB 133 at 153, the Court of Appeal treated promissory estoppel and proprietary estoppel or estoppel by acquiescence as mere facets of the same general principle … In *Taylors Fashions* Oliver J also remarked (at 153) that what gave rise to the need for the court to intervene was the [404] defendants' unconscionable attempt to go back on the assumptions which were the foundation of their dealings. Indeed, Scarman LJ in *Crabb* saw the question in terms of whether an equity had

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arisen from the conduct and relationship of the parties (at 193-4), concluding that the court should determine what was "the minimum equity to do justice to the plaintiff": at 198.

[9.40] The decision in *Crabb* is consistent with the principle of proprietary estoppel applied in *Ramsden v Dyson* (1866) LR 1 HL 129. Under that principle a person whose conduct creates or lends force to an assumption by another that he will obtain an interest in the first person's land and on the basis of that expectation the other person alters his position or acts to his detriment, may bring into existence an equity in favour of that other person, the nature and extent of the equity depending on the circumstances. And it should be noted that in *Crabb*, as in *Ramsden v Dyson*, although equity acted by way of recognising a proprietary interest in the plaintiff, that proprietary interest came into existence as the only appropriate means by which the defendants could be effectively estopped from exercising their existing legal rights.

One may therefore discern in the cases a common thread which links them together, namely, the principle that equity will come to the relief of a plaintiff who has acted to his detriment on the basis of a basic assumption in relation to which the other party to the transaction has "played such a part in the adoption of the assumption that it would be unfair or unjust if he were left free to ignore it": *Grundt* at 675, per Dixon J; see also *Thompson* at 547. Equity comes to the relief of such a plaintiff on the footing that it would be unconscionable conduct on the part of the other party to ignore the assumption.

Before we turn to the very recent decision of the Privy Council in *Attorney-General (Hong Kong) v Humphreys Estate* [1987] 1 AC 114, which was not a case of proprietary estoppel, but one, like the present, arising in the course of negotiations antecedent to the making of a contract, we should say something of equity's attitude to the enforcement of voluntary promises. So far equity has set its face against the enforcement of such promises and future representations as such. The support for the exercise of a general equitable jurisdiction to make good expectations created or encouraged by a defendant given by Lord Cottenham LC in *Hammersley v De Biel* (1845) 12 Cl & Fin 45; 8 ER 1312, affirmed by the House of Lords in that [405] case, was undermined by the insistence in *Jorden v Money* on a representation of existing fact and destroyed by *Maddison v Alderson* (1883) 8 App Cas 467.

Because equitable estoppel has its basis in unconscionable conduct, rather than the making good of representations, the objection, grounded in *Maddison v Alderson*, that promissory estoppel outflanks the doctrine of part performance loses much of its sting. Equitable estoppel is not a doctrine associated with part performance whose principal purpose is to overcome non-compliance with the formal requirements for the making of contracts. Equitable estoppel, though it may lead to the plaintiff acquiring an estate or interest in land, depends on considerations of a different kind from those on which part performance depends. Holding the representor to his representation is merely one way of doing justice between the parties.

In *Humphreys Estate* the defendants representing the Hong Kong government negotiated with a group of companies (HKL), which included the respondent Humphreys Estate, for an exchange whereby the government would acquire 83 flats, being part of property belonging to HKL, and in exchange HKL would take from the government a Crown lease of property known as Queen's Gardens and be granted the right to develop that property and certain adjoining property held by HKL. The negotiations did not result in a contract, though the exchange of properties was agreed in principle but subject to contract. The government took possession of HKL's property and expended a substantial sum on it. HKL took possession of Queen's Gardens and demolished existing buildings and paid to the government $103 865 608, the agreed difference between the value of the two properties. HKL withdrew from the negotiations and sued to recover the amount paid and possession of the first property. The defendants claimed that HKL was estopped from withdrawing from the agreement in principle. The Privy Council rejected this claim on the ground that the government failed to show (a) that HKL created or encouraged a belief or expectation on the part of the government that HKL would not withdraw from the agreement in principle and (b) that the government relied on that belief or expectation: at 124. Their Lordships observed (at 127-8):

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> It is possible but unlikely that in circumstances at present [406] unforeseeable a party to negotiations set out in a document expressed to be "subject to contract" would be able to satisfy the court that the parties had subsequently agreed to convert the document into a contract or that some form of estoppel had arisen to prevent both parties from refusing to proceed with the transactions envisaged by the document.

The foregoing review of the doctrine of promissory estoppel indicates that the doctrine extends to the enforcement of voluntary promises on the footing that a departure from the basic assumptions underlying the transaction between the parties must be unconscionable. As failure to fulfil a promise does not of itself amount to unconscionable conduct, mere reliance on an executory promise to do something, resulting in the promisee changing his position or suffering detriment, does not bring promissory estoppel into play. Something more would be required. *Humphreys Estate* suggests that this may be found, if at all, in the creation or encouragement by the party estopped in the other party of an assumption that a contract will come into existence or a promise will be performed and that the other party relied on that assumption to his detriment to the knowledge of the first party. *Humphreys Estate* referred in terms to an assumption that the plaintiff would not exercise an existing legal right or liberty, the right or liberty to withdraw from the negotiations, but as a matter of substance such an assumption is indistinguishable from an assumption that a binding contract would eventuate. On the other hand the United States experience, distilled in the *Restatement* (2d, §90), suggests that the principle is to be expressed in terms of a reasonable expectation on the part of the promisor that his promise will induce action or forbearance by the promisee, the promise inducing such action or forbearance in circumstances where injustice arising from unconscionable conduct can only be avoided by holding the promisor to his promise.

The application of these principles to the facts of the present case is not without difficulty. The parties were negotiating through their solicitors for an agreement for lease to be concluded by way of customary exchange. *Humphreys Estate* illustrates the difficulty of establishing an estoppel preventing parties from refusing to proceed with a transaction expressed to be "subject to contract". And there is the problem identified in *Texas Bank* (at 107) that a voluntary promise will not generally give rise to an estoppel because the promisee may reasonably be expected to appreciate that he cannot safely rely upon it. This problem is magnified in the present case where the parties were represented by their solicitors.

All this may be conceded. But the crucial question remains: was [407] the appellant entitled to stand by in silence when it must have known that the respondents were proceeding on the assumption that they had an agreement and that completion of the exchange was a formality? The mere exercise of its legal right not to exchange contracts could not be said to amount to unconscionable conduct on the part of the appellant. But there were two other factors present in the situation which require to be taken into consideration. The first was the element of urgency that pervaded the negotiation of the terms of the proposed lease …

The second factor of importance is that the respondents executed the counterpart deed and it was forwarded to the appellant's solicitor on 11 November. The assumption on which the respondents acted thereafter was that completion of the necessary exchange was a formality …

It seems to us, in the light of these considerations, that the appellant was under an obligation to communicate with the respondents within a reasonable time after receiving the executed counterpart deed and certainly when it learnt on 10 December that demolition was proceeding. It had to choose whether to complete the contract or to warn the respondents that it had not yet decided upon the course it would take. It was not entitled simply to retain the counterpart deed executed by the respondents and do nothing … The appellant's inaction, in all the circumstances, constituted clear encouragement or inducement to the respondents to continue to act on the basis of the assumption which they had made. It was unconscionable for it, knowing that the respondents were exposing themselves to detriment by acting on the basis of a false assumption, to adopt a course [408] of inaction which encouraged them in the course they had adopted. To express the point in the language

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of promissory estoppel the appellant is estopped in all the circumstances from retreating from its implied promise to complete the contract. Also, as the other judgments demonstrate, there is no substance in the argument based on s 54A of the *Conveyancing Act 1919* (NSW).

We therefore think that the Court of Appeal was correct in its conclusion. We would dismiss the appeal.

[9.45] BRENNAN J: [413] [T]here are three distinct bases advanced for holding Waltons estopped from denying the existence of the contract sued upon. The first basis is an expectation by Mr Maher that Waltons would duly complete the exchange; the second basis is an assumption by Mr Maher that Waltons had duly completed the exchange; the third basis is an assumption by Mr Maher that there was a binding contract in existence whether or not an exchange had been completed. An expectation that Waltons would exchange contracts – the first basis – is radically different from an assumption that contracts had been exchanged – the second basis. The relevant assumption of fact which Mr Maher must have made if he expected that Waltons would exchange contracts is that contracts had not been exchanged. The first basis rests on an expectation as to what Waltons would do; it could be supported, if at all, only upon the principles of equitable estoppel. The second and third bases rest on assumptions as to an existing state of affairs; they could be supported, if at all, upon the principles of estoppel in pais. Estoppel in pais and equitable estoppel address different problems, though there are elements common to both.

The nature of an estoppel in pais is well established in this country. A party who induces another to make an assumption that a state of affairs exists, knowing or intending the other to act on that assumption, is estopped from asserting the existence of a different state of affairs as the foundation of their respective rights and liabilities if the other has acted in reliance on the assumption and would suffer detriment if the assumption were not adhered to …

[414] The effect of an estoppel in pais is not to create a right in one party against the other; it is to establish the state of affairs by reference to which the legal relationship between them is ascertained. A classical statement of the doctrine as it is understood at least in this country is to be found in the judgment of Dixon J in *Grundt v Great Boulder* at 674-5 …

[415] The scope of estoppel in pais does not extend to compel adherence to representations of intention. The limitation which *Jorden v Money* placed on the doctrine of estoppel in pais was that it "does not apply to a case where the representation is not a representation of a fact, but a statement of something which the party intends or does not intend to do" …

It has been said that estoppel in pais is merely a rule of evidence and not a cause of action … but that proposition needs some explanation. If the estoppel relates to the existence of a contract between the parties, the legal relationship between the parties is ascertained by reference to the terms of the contract which has been assumed to exist. If, in the assumed state of affairs, the contract confers a cause of action on the party raising the estoppel, the cause of action may be enforced. The source of legal obligation in that event is the assumed contract; the estoppel is not a source of legal obligation except in the sense that the estoppel compels the party bound to adhere to the assumption that the contract exists … The assumed state of affairs to which a party may be bound to adhere may be more than a state of mere facts; it may include the legal complexion of a fact as well as the fact itself, that is, a matter of mixed fact and law …

[416] Equitable estoppel, on the other hand, does not operate by establishing an assumed state of affairs. Unlike an estoppel in pais, an equitable estoppel is a source of legal obligation. It is not enforceable against the party estopped because a cause of action or ground of defence would arise on an assumed state of affairs; it is the source of a legal obligation arising on an actual state of affairs. An equitable estoppel is binding in conscience on the party estopped, and it is to be satisfied by that party doing or abstaining from doing something in order to prevent detriment to the party raising the estoppel which that party would otherwise suffer by having acted or abstained from acting in reliance on the assumption or expectation which he has been induced to adopt. Perhaps equitable estoppel

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is more accurately described as an equity created by estoppel. The origin of equitable estoppel in the general principles of equity is illustrated by *Chalmers v Pardoe* [1963] 1 WLR 677 … Sir Terence Donovan, speaking for the Privy Council, said:

> There can be no doubt upon the authorities that where an owner of land has invited or expressly encouraged another to expend money upon part of his land upon the faith of an assurance or promise that that part of the land will be made over to the person so expending his money, a court of equity will prima facie require the owner by appropriate conveyance to fulfil his obligation; and when, for example, for reasons of title, no such conveyance can effectively be made, a court of equity may declare that the person who has expended the money is entitled [417] to an equitable charge or lien for the amount so expended … the court must look at the circumstances in each case to decide in what way the equity can be satisfied.

And in *Crabb v Arun District Council* at 187-8, Lord Denning MR said:

> The basis of this proprietary estoppel — as indeed of promissory estoppel — is the interposition of equity … The early cases did not speak of it as "estoppel". They spoke of it as "raising an equity". If I may expand what Lord Cairns LC said in *Hughes v Metropolitan Railway Co*: "it is the first principle upon which all courts of equity proceed", that it will prevent a person from insisting on his strict legal rights — whether arising under a contract, or on his title deeds, or by statute — when it would be inequitable for him to do so having regard to the dealings which have taken place between the parties.

Estoppel based on Mr Maher's expectation that Waltons would complete an exchange of contracts – the first basis of estoppel – is therefore governed by principles distinct from the principles governing estoppel based on an assumption that contracts had been exchanged or that a binding contract was in existence whether or not an exchange had been completed – the second and third bases. However, as will appear, equitable estoppel and an estoppel in pais which relates to an assumption of an existing contract may lead to the grant of similar remedies.

The first basis: Waltons would exchange

[9.50] [Brennan J reviewed the evidence and continued] [418] Is this sufficient to create any equity in the Mahers of the kind to which Danckwerts LJ referred in *Inwards v Baker* [1965] 2 QB 29, 38, that is: "an equity created by estoppel, or equitable estoppel, as it is sometimes called, by which the person who has made the expenditure is induced by the expectation of obtaining protection, and equity protects him so that an injustice may not be perpetrated"?

The protection which equity extends is analogous to the protection given [419] by estoppel in pais to which Dixon J referred in *Grundt v Great Boulder*, that is, protection against the detriment which would flow from a party's change of position if the assumption (or expectation) that led to it were deserted …

The element which both attracts the jurisdiction of a court of equity and shapes the remedy to be given is unconscionable conduct on the part of the person bound by the equity, and the remedy required to satisfy an equity varies according to the circumstances of the case … Sometimes it is necessary to decree that a party's expectation be specifically fulfilled by the party bound by the equity; sometimes it is necessary to grant an injunction to restrain the exercise of legal rights either absolutely or on condition; sometimes it is necessary to give an equitable lien on property for the expenditure which a party has made on it … However, in moulding its decree, the court, as a court of conscience, goes no further than is necessary to prevent unconscionable conduct. What, then, is unconscionable conduct? …

[420] Some indication of what constitutes unconscionable conduct can be gleaned from the instances in which an equity created by estoppel has been held to arise. If cases of equitable estoppel are in truth but particular instances of the operation of the general principles of equity, there is little

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purpose in dividing those cases into the categories of promissory and proprietary estoppel which are not necessarily exhaustive of the cases in which equity will intervene. Like Scarman LJ in *Crabb v Arun District Council*, I do not find it generally helpful to divide into classes the cases in which an equity created by estoppel has been held to exist. However, the familiar categories serve to identify the characteristics of the circumstances which have been held to give rise to an equity in the party raising the estoppel. In cases of promissory estoppel, the equity binds the holder of a legal right who induces another to expect that that right will not be exercised against him. In cases of proprietary estoppel, the equity binds the owner of property who induces another to expect that an interest in the property will be conferred on him. In cases where there has been an imperfect gift of property the equity binds the donor of the property when, after the making of the imperfect gift, he does something to induce the donee to act on the assumption that the imperfect gift is effective or on the expectation that it will be made effective.

In all cases where an equity created by estoppel is raised, the party raising the equity has acted or abstained from acting on an assumption or expectation as to the legal relationship between himself and the party who induced him to adopt the assumption or expectation. The assumption or expectation does not relate to mere facts, whether existing or future. (An assumption as to a legal relationship may be an assumption that there is no legal relationship, as in the cases where A builds on B's land assuming it to be his own.)

[421] Though the party raising the estoppel may be under no mistake as to the facts, he assumes that a particular legal relationship exists or expects that a particular legal relationship will exist between himself and the party who induced the assumption or expectation. The assumption or expectation may involve an error of law. Thus a promissory or a proprietary estoppel may arise when a party, not mistaking any facts, erroneously attributes a binding legal effect to a promise made without consideration. But, if the party raising the estoppel is induced by the other party's promise to adopt an assumption or expectation, the promise must be intended by the promisor and understood by the promisee to affect their legal relations. In *Combe v Combe* Denning LJ, the chief modern proponent of equitable estoppel, emphasised this element …

However, his Lordship's enunciation of the principle does not bring out the basic object of the doctrine which, like the object of estoppel in pais, is to avoid the detriment which the promisee would suffer if the promisor fails to fulfil the promise. It will be necessary to return to consider the basic object of the doctrine, but for the moment it is important to observe that the doctrine has no application to an assumption or expectation induced by a promise which is not intended by the promisor and understood by the promisee to affect their legal relations. The point is illustrated by the judgment of the Privy Council in *Attorney-General (Hong Kong) v Humphreys Estate* … [422] It follows that an assumption or expectation by one party which does not relate to what the other party is bound to do or not to do gives no foundation for an equitable estoppel, though the assumption or expectation relates to the prospect of the other party conducting himself in a particular way. The risk that the other party who, being free to conduct himself in whatever way he chooses, may choose to conduct himself in a way different from that assumed or [423] expected rests with the party who adopts the assumption or expectation.

Parties who are negotiating a contract may proceed in the expectation that the terms will be agreed and a contract made but, so long as both parties recognise that either party is at liberty to withdraw from the negotiations at any time before the contract is made, it cannot be unconscionable for one party to do so. Of course, the freedom to withdraw may be fettered or extinguished by agreement but, in the absence of agreement, either party ordinarily retains his freedom to withdraw. It is only if a party induces the other party to believe that he, the former party, is already bound and his freedom to withdraw has gone that it could be unconscionable for him subsequently to assert that he is legally free to withdraw.

It is essential to the existence of an equity created by estoppel that the party who induces the adoption of the assumption or expectation knows or intends that the party who adopts it will act

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or abstain from acting in reliance on the assumption or expectation. When the adoption of an assumption or expectation is induced by the making of a promise, the knowledge or intention that the assumption or expectation will be acted upon may be easily inferred. But if a party encourages another to adhere to an assumption or expectation already formed or acquiesces in the making of an assumption or the entertainment of an expectation when he ought to object to the assumption or expectation – steps which are tantamount to inducing the other to adopt the assumption or expectation – the inference of knowledge or intention that the assumption or expectation will be acted on may be more difficult to draw.

The unconscionable conduct which it is the object of equity to prevent is the failure of a party, who has induced the adoption of the assumption or expectation and who knew or intended that it would be relied on, to fulfil the assumption or expectation or otherwise to avoid the detriment which that failure would occasion. The object of the equity is not to compel the party bound to fulfil the assumption or expectation; it is to avoid the detriment which, if the assumption or expectation goes unfulfilled, will be suffered by the party who has been induced to act or to abstain from acting thereon.

If this object is kept steadily in mind, the concern that a general application of the principle of equitable estoppel would make non-contractual promises enforceable as contractual promises can be [424] allayed. A non-contractual promise can give rise to an equitable estoppel only when the promisor induces the promisee to assume or expect that the promise is intended to affect their legal relations and he knows or intends that the promisee will act or abstain from acting in reliance on the promise, and when the promisee does so act or abstain from acting and the promisee would suffer detriment by his action or inaction if the promisor were not to fulfil the promise. When these elements are present, equitable estoppel almost wears the appearance of contract, for the action or inaction of the promisee looks like consideration for the promise on which, as the promisor knew or intended, the promisee would act or abstain from acting …

[9.55] [425] But there are differences between a contract and an equity created by estoppel. A contractual obligation is created by the agreement of the parties; an equity created by estoppel may be imposed irrespective of any agreement by the party bound. A contractual obligation must be supported by consideration; an equity created by estoppel need not be supported by what is, strictly speaking, consideration. The measure of a contractual obligation depends on the terms of the contract and the circumstances to which it applies; the measure of an equity created by estoppel varies according to what is necessary to prevent detriment resulting from unconscionable conduct …

In *Combe v Combe* [1951] 2 KB 215, Denning LJ limited the application of promissory estoppel, as he expounded the doctrine, to ensure that it did not displace the doctrine of consideration. His Lordship's solution of the problem was to hold that the promise should not itself be a cause of action, but merely the foundation of a defensive equity …

The remedy offered by promissory estoppel has been limited to preventing the enforcement of existing legal rights … If the object of the principle were to make a promise binding in equity, the need to preserve the doctrine of consideration would require a limitation to be placed on the remedy. But there is a logical difficulty in limiting the principle so that it applies only to promises to suspend or extinguish existing rights. If a promise by A not to enforce an existing right against B is to confer an equitable right on B to compel fulfilment of the promise, why should B be denied the same protection in similar circumstances if the promise is intended to create in B a new legal right against A? There is no logical distinction to be drawn between a change in legal relationships [426] effected by a promise which extinguishes a right and a change in legal relationships effected by a promise which creates one. Why should an equity of the kind to which *Combe v Combe* refers be regarded as a shield but not a sword? The want of logic in the limitation on the remedy is well exposed in Jackson's essay "Estoppel as a Sword" in (1965) 81 *Law Quarterly Review* 223, 241-3.

Moreover, unless the cases of proprietary estoppel are attributed to a different equity from that which explains the cases of promissory estoppel, the enforcement of promises to create new

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proprietary rights cannot be reconciled with a limitation on the enforcement of other promises. If it be unconscionable for an owner of property in certain circumstances to fail to fulfil a non-contractual promise that he will convey an interest in the property to another, is there any reason in principle why it is not unconscionable in similar circumstances for a person to fail to fulfil a non-contractual promise that he will confer a non-proprietary legal right on another? It does not accord with principle to hold that equity, in seeking to avoid detriment occasioned by unconscionable conduct, can give relief in some cases but not in others.

If the object of the principle of equitable estoppel in its application to promises were regarded as their enforcement rather than the prevention of detriment flowing from reliance on promises, the courts would be constrained to limit the application of the principles of equitable estoppel in order to avoid the investing of a non-contractual promise with the legal effect of a contractual promise …

[427] But the … solution of the problem is reached by identifying the unconscionable conduct which gives rise to the equity as the leaving of another to suffer detriment occasioned by the conduct of the party against whom the equity is raised. Then the object of the principle can be seen to be the avoidance of that detriment and the satisfaction of the equity calls for the enforcement of a promise only as a means of avoiding the detriment and only to the extent necessary to achieve that object. So regarded, equitable estoppel does not elevate non-contractual promises to the level of contractual promises and the doctrine of consideration is not blown away by a side-wind. Equitable estoppel complements the tortious remedies of damages for negligent misstatement or fraud and enhances the remedies available to a party who acts or abstains from acting in reliance on what another induces him to believe.

As an element in unconscionable conduct is the inducing of the other party to adopt an assumption or expectation as to the parties' legal relations, the question arises whether silence is capable of inducing the adoption of the assumption or expectation. In *Thompson v Palmer* (1933) 49 CLR 507, 547 Dixon J, in reference to estoppel in pais, said:

> Whether a departure by a party from the assumption should be considered unjust and inadmissible depends on the part taken by him in occasioning its adoption by the other party. He may be required to abide by the assumption because it formed the conventional basis upon which the parties entered into contractual or other mutual relations, such as bailment; or because he has exercised against the other party rights which would exist only if the assumption were correct … or because knowing the mistake the other laboured under, he refrained from correcting him when it was his duty to do so; or because his imprudence, where care was required of him, was a proximate cause of the other party's adopting and acting upon the faith of the assumption; or because he directly made representations upon which the other party founded the assumption.

The same observations hold good, mutandis mutandis, with respect to the adoption of an assumption or expectation which founds an equitable estoppel. Clearly an assumption or expectation may be adopted not only as the result of a promise but also in certain circumstances as the result of encouragement to adhere to an assumption or expectation already formed or as the result of a party's failure to object to the assumption or expectation on which the other party is known to be conducting his affairs. In the present [428] case the question is whether Waltons, knowing that Mr Maher was labouring under the belief that Waltons was bound to the contract, was under a duty to correct that belief. The evidence was capable of supporting an inference that Waltons knew the belief under which Mr Maher was labouring when Waltons became aware that Mr Maher was doing the work specified in the deed. Waltons deliberately refrained from correcting what Waltons must have regarded as an erroneous belief. Was it Waltons' duty to do so? …

Silence will support an equitable estoppel only if it would be inequitable thereafter to assert a legal relationship different from the one which, to the knowledge of the silent party, the other party assumed or expected. What would make it inequitable to depart from such an assumption or expectation? Knowledge that the assumption or expectation could be fulfilled only by a transfer of the property

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of the person who stays silent, or by a diminution of his rights or an increase in his obligations. A person who knows or intends that the other should conduct his affairs on such an assumption or expectation has two options: to warn the other that he denies the correctness of the assumption or expectation when he knows that the other may suffer detriment by so conducting his affairs should the assumption or expectation go unfulfilled, or to act so as to avoid any detriment which the other may suffer in reliance on the assumption or expectation. It is unconscionable to refrain from making the denial and then to leave the other to bear whatever detriment is occasioned by non-fulfilment of the assumption or expectation.

[9.60] In my opinion, to establish an equitable estoppel, it is necessary for a plaintiff to prove that (1) the plaintiff assumed or expected that a particular legal relationship exists between the plaintiff and the defendant or that a particular legal relationship will exist between them and, in the latter case, that the defendant is not free to withdraw from the expected legal relationship; (2) the [429] defendant has induced the plaintiff to adopt that assumption or expectation; (3) the plaintiff acts or abstains from acting in reliance on the assumption or expectation; (4) the defendant knew or intended him to do so; (5) the plaintiff's action or inaction will occasion detriment if the assumption or expectation is not fulfilled; and (6) the defendant has failed to act to avoid that detriment whether by fulfilling the assumption or expectation or otherwise. For the purposes of the second element, a defendant who has not actively induced the plaintiff to adopt an assumption or expectation will nevertheless be held to have done so if the assumption or expectation can be fulfilled only by a transfer of the defendant's property, a diminution of his rights or an increase in his obligations and he, knowing that the plaintiff's reliance on the assumption or expectation may cause detriment to the plaintiff if it is not fulfilled, fails to deny to the plaintiff the correctness of the assumption or expectation on which the plaintiff is conducting his affairs.

This is such a case, as a brief recapitulation of the facts will show …

[430] Waltons' silence induced Mr Maher to continue either on the assumption that Waltons was already bound or in the expectation that Waltons would execute and deliver the original deed as a matter of obligation. It was unconscionable for Waltons subsequently to seek to withdraw after a substantial part of the work was complete, leaving the Mahers to bear the detriment which non-fulfilment of the expectation entailed. Having elected to allow Mr Maher to continue to build, it was too late for Waltons to reclaim the initial freedom to withdraw which Waltons had in the days immediately following 11 November. As the Mahers would suffer loss if Waltons failed to execute and deliver the original deed, an equity is raised against Waltons. That equity is to be satisfied by treating Waltons as though it had done what it induced Mr Maher to expect that it would do, namely, by treating Waltons as though it had executed and delivered the original deed. It would not be appropriate to order specific performance if only for the reason that the detriment can be avoided by compensation. The equity is fully satisfied by ordering damages in lieu of specific performance. The judgment of Kearney J is supported by the first basis of estoppel. The second and third bases may be disposed of briefly …

[9.65] DEANE J [took the view that Maher believed that there was a binding contract between the parties and found an estoppel by conduct based on a representation or induced assumption of existing fact. His Honour also considered whether the law should now recognise one unified doctrine of estoppel, a matter which he took up again in *Commonwealth v Verwayen* below.

Dealing with s 54A of the *Conveyancing Act 1919* (NSW) his Honour said]:

[445] It was submitted on behalf of Waltons that any agreement between the Mahers and Waltons resulting from the estoppel was unenforceable by reason of the provisions of s 54A of the *Conveyancing Act 1919* (NSW) … I would … dispose of the … submission on the fundamental ground that s 54A has nothing to say to the circumstances of the present case …

[446] [T]he estoppel in the present case precludes denial of a binding agreement in circumstances where there was in fact none. In such a case, there is no scope for the operation of s 54A to render

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the assumed agreement unenforceable. That conclusion can arguably be justified on the broad basis that, as a matter of construction, s 54A applies only to real contracts and agreements and does not apply to an assumed agreement to require that it be evidenced by trappings appropriate to an actual one. It is, however, unnecessary to go quite so far for the purposes of the present case. It suffices for present purposes to say that, in the circumstances of the present case, the estoppel precluding the denial of a binding agreement extends to preclude the assertion of unenforceability of the assumed agreement in that the word "binding" is used in the sense of valid and enforceable. That being so, the estoppel outflanks the provisions of s 54A in that there is no room for their intrusion into the assumed facts to controvert the assumed existence of a binding agreement which Waltons is estopped from denying.

[GAUDRON J considered that Maher had acted on the assumption that an exchange of contracts had in fact taken place and that in the circumstances Waltons were estopped from denying that.]

Appeal dismissed.

[9.70] Notes

In *Silovi Pty Ltd v Barbaro* (1988) 13 NSWLR 466, 472, Priestley JA said:

> The following can I think be distilled from the reasons in *Waltons* notwithstanding the somewhat different language used by different judges.
>
> (1) Common law and equitable estoppel are separate categories, although they have many ideas in common.
>
> (2) Common law estoppel operates upon a representation of existing fact, and when certain conditions are fulfilled, establishes a state of affairs by reference to which the legal relation between the parties is to be decided. This estoppel does not itself create a right against the party estopped. The right flows from the court's decision on the state of affairs established by the estoppel.
>
> (3) Equitable estoppel operates upon representations or promises as to future conduct, including promises about legal relations. When certain conditions are fulfilled, this kind of estoppel is itself an equity, a source of legal obligation.
>
> (4) Cases described as estoppel by encouragement, estoppel by acquiescence, proprietary estoppel and promissory estoppel are all species of equitable estoppel.
>
> (5) For equitable estoppel to operate in circumstances such as those of the present case there must be the creation or encouragement by the defendant in the plaintiff of an assumption that a contract will come into existence or a promise be performed [or an interest granted to the plaintiff by the defendant], and reliance on that by the plaintiff, in circumstances where departure from the assumption by the defendant would be unconscionable.
>
> (6) Equitable estoppel may lead to the plaintiff acquiring an estate or interest in land; that is, in the common metaphor, it may be a sword.
>
> (7) The remedy granted to satisfy the equity (which either is the estoppel or created by it) will be what is necessary to prevent detriment resulting from the unconscionable conduct.

The words in parentheses in point 5 were added by Priestley JA in *Austotel Pty Limited v Franklin Selfserve Pty Limited* (1989) 16 NSWLR 582, 615–6 as a refinement of that element.

[9.75] In *Commonwealth v Verwayen* (1990) 170 CLR 394, the High Court was asked to determine whether the Commonwealth should be prevented from raising certain defences (including a defence that the action was barred by the statute of limitations), which it had promised not to raise in litigation with Mr Verwayen. Mr Verwayen had continued the litigation for some time on the faith of the Commonwealth's assurances that it would not plead the defences. Gaudron and Toohey JJ held that the Commonwealth had irrevocably waived its right to take advantage of the relevant defences. The other members of the majority, Deane and Dawson JJ, held that an equitable estoppel arose against the Commonwealth which was to be satisfied by fulfilling Verwayen's assumption and preventing the Commonwealth from pleading the defences. Mason CJ, Brennan and McHugh JJ found that there was insufficient evidence of detriment to support an equitable estoppel. All of the judgments emphasised the flexibility of the remedy granted for equitable estoppel. Mason CJ, Brennan J and McHugh J placed particular weight on the principle that the remedy should go no further than is necessary to prevent detriment: (1990) 170 CLR 394, 413, 441–3, 501 and 504.

[9.155] The remedial effect of equitable estoppel was considered again by the High Court in *Giumelli v Giumelli* [1999] HCA 10; (1999) 196 CLR 101. This was a proprietary estoppel case involving a man who relied on a promise by his parents to give him certain land. The High Court considered the question of when a relying party would be given the very thing promised to them (in this case, the land in question), when he or she would given the monetary equivalent of that thing (the value of the land) and when he or she would be given some other remedy (such as compensation) designed to prevent or reverse detriment suffered as result of reliance on the promise. The High Court in *Giumelli* also made some useful observations on the relationship between estoppel and contract. These observations were made in response to the appellant's argument that the routine fulfilment of expectations through estoppel would undermine the doctrine of consideration.

THE EFFECT OF AN ESTOPPEL

Giumelli v Giumelli

[9.160] *Giumelli v Giumelli* [1999] HCA 10; (1999) 196 CLR 101 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: Robert Giumelli was a partner in a family orchard business operated on two properties owned by his parents, one of which was the Dwellingup property. With other members of his family, Robert worked to improve and develop the Dwellingup property. The partnership paid the cost of materials and contractors involved in this improvement. Robert worked for the partnership without receiving wages, but did receive pocket money and keep and was credited with earnings in the partnership accounts. During his adult life, Robert's parents made three promises to him in relation to the Dwellingup property. The first, in 1974, was that he would be given part of the Dwellingup property to compensate him for working without wages and for developing the Dwellingup property (the trial judge labelled this "the general promise"). Secondly, in 1980 when he planned to marry, Robert's parents told him that he could build a house on the Dwellingup property and "the house" would be his (the second promise). Robert bore the $47,000 cost of building the house, but received a $25,000 advance from the partnership to assist him. In 1981, after he married, Robert's parents promised that if he stayed on the property and rejected an offer of work from his father-in-law, he would be given a subdivided part of the Dwellingup property (the promised lot) which would include

Giumelli v Giumelli cont.

the house and the orchard (the third promise). Robert and his wife soon separated and later divorced. Robert continued to work and improve the Dwellingup property. He later sought to marry a woman of whom his parents disapproved. In 1985 his parents told him to choose between his new fiancé and the property. Robert married and left the property. Robert's brother Stephen then moved onto the property with his family and made substantial improvements to the promised lot. In 1986 Robert instituted proceedings to wind up the partnership. In 1990 he instituted the present proceedings, claiming that his parents held the Dwellingup property on trust to convey the promised lot to him. The trial judge found that Robert acted to his detriment on the second promise by expending money and labour in building the house. He found that Robert had not established that the action he took in reliance on the third promise was detrimental since his work improved the profitability of the partnership and he continued to earn income from the partnership. He ordered the parents to pay to Robert the greater of the sum expended on the house and the present value of the house and the land on which it stood. On appeal, the Full Court found that Robert had suffered detriment in reliance on the third promise.]

GLEESON CJ, McHUGH, GUMMOW AND CALLINAN JJ: [111] This is an appeal from the Full Court of the Supreme Court of Western Australia (*Giumelli v Giumelli* (1996) 17 WAR 159). The Full Court (Rowland, Franklyn and Ipp JJ) allowed an appeal by the present respondent from a judgment entered by a judge of that Court (Nicholson J) and dismissed a cross-appeal by the present appellants. The Full Court granted a declaration that the appellants hold the whole of the land comprised in Certificate of Title Vol 1400 Folio 628 (the Dwellingup property) upon trust and that, since May 1986, they have held the Dwellingup property upon trust to convey to the respondent what is presently an unsubdivided portion thereof, identified as "the promised lot". The appellants were ordered to do all things reasonably necessary to subdivide the Dwellingup property so as to create the promised lot, including the obtaining of State Planning Commission approval … [112]

[T]he order made by the Full Court is akin to orders for conveyance made by Lord Westbury LC in *Dillwyn v Llewelyn* (1862) 4 De GF & J 517, 523; 45 ER 1285, 1287 and, more recently, by McPherson J in *Riches v Hogben* [1985] 2 Qd R 292, 302.

In these cases, the equity which founded the relief obtained was found in an assumption as to the future acquisition of ownership of property which had been induced by representations upon which there had been detrimental reliance by the plaintiff. This is a well recognised variety of estoppel as understood in equity and may found relief which requires the taking of active steps by the defendant.

There is no occasion in this appeal to consider whether the various doctrines and remedies in the field of estoppel are to be brought under what Mason CJ called "a single overarching doctrine" (*The Commonwealth v Verwayen* (1990) 170 CLR 394, 411) or what Deane J identified as a "general doctrine of estoppel by conduct" (*Verwayen* (1990) 170 CLR 394, 440). These theses were advanced by their Honours in *The Commonwealth v Verwayen* but not accepted by Dawson J (*Verwayen* (1990) 170 CLR 394, 454) or McHugh J (*Verwayen* (1990) 170 CLR 394, 499–501). Brennan J approached the subject on the footing that "equitable [113] estoppel yields a remedy in order to prevent unconscionable conduct on the part of the party who, having made a promise to another who acts on it to his detriment, seeks to resile from the promise" (*Verwayen* (1990) 170 CLR 394, 428–9). Subsequently, in the joint judgment of Mason CJ, Brennan, Dawson, Toohey and Gaudron JJ in *Australian Securities Commission v Marlborough Gold Mines Ltd* (1993) 177 CLR 485, 506, reference was made to "an equitable estoppel of the kind upheld in Verwayen" …

The relief granted by the Full Court indicates that the equity of the respondent was more than a "defensive equity". This phrase was used by Deane J in *The Commonwealth v Verwayen* (1990) 170 CLR 394, 435 to denote laches, acquiescence or delay or a mere set-off. Further, by obliging the appellants to execute a conveyance, the equity established by the respondent did more than prevent the appellants from insisting upon their strict legal rights as present owners. On the other hand, the respondent did not establish an immediate right to positive equitable relief as understood in the same sense that a right to recover damages may be seen as consequent upon a breach of contract.

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The present case fell within the category identified by the Privy Council in *Plimmer v Mayor, &c, of Wellington* (1884) 9 App Cas 699, 714 where "the Court must look at the circumstances in each case to decide in what way the equity can be satisfied". Before a constructive trust is imposed, the court should first decide whether, having regard to the issues in the litigation, there is an appropriate equitable remedy which falls short of the imposition of a trust (*Bathurst City Council v PWC Properties Pty Ltd* (1998) 195 CLR 566, 584–5; *Napier v Hunter* [1993] AC 713, 738, 744–5, 752). At the heart of this appeal is the question whether the relief granted by the Full Court was appropriate and whether sufficient weight was given by the Full Court to the various factors to be taken into account, including the impact upon relevant [114] third parties, in determining the nature and quantum of the equitable relief to be granted. (See the remarks of McLachlin J in *Soulos v Korkontzilas* [1997] 2 SCR 217, 236, 241, 243. See also Oakley, "The Precise Effect of the Imposition of a Constructive Trust", in Goldstein (ed), *Equity and Contemporary Legal Developments* (1992), 427, 451–6.)

In their notice of appeal, the appellants seek the dismissal of the respondent's claim. However, in their written and oral submissions, they accept that, at least in respect of what was identified as the second promise, the respondent had an equity to some relief. They submit that this fell short of an order for a subdivision and the conveyance of the promised lot.

[Their Honours stated the facts and reviewed the finding of the trial judge that Robert had suffered no detriment as a result of reliance on the third promise.]

[117] [With respect to detriment suffered in reliance on the third promise], we prefer the conclusions reached by Rowland J and Ipp J in the Full Court. Rowland J approached the matter on the [118] footing that, even if it be conceded that Robert had not suffered an appreciable loss of income by remaining in the partnership, the detriment suffered by him was the loss of the property which he worked to improve, not to obtain immediate income from that exercise but to gain the proprietary interest (*Giumelli* (1996) 17 WAR 159, 166). For that, Robert gave up the opportunity of a different career path. Ipp J pointed out that the reasoning of the primary judge placed no weight upon the circumstance that the partnership had no security of tenure and did not own the real estate (*Giumelli* (1996) 17 WAR 159, 174). His Honour continued (*Giumelli* (1996) 17 WAR 159, 174–5):

Accordingly, had [Mr and Mrs Giumelli] not undertaken to transfer the [p]romised [l]ot to [Robert], he would not have remained in the partnership and worked on improving the new orchard. The work done on the Dwellingup property by [Robert], at the expense of the partnership (including [Robert's] share), while benefiting [Mr and Mrs Giumelli] (by adding to the capital value of their property) only stood to benefit [Robert] if the partnership continued for a sufficiently long period, and if [Mr and Mrs Giumelli] honoured their promises to him. As the partnership terminated (through no fault on the part of [Robert]) before the new orchard became productive, [Robert] in fact received little, if any, benefit from developing the new orchard. It was because [Robert] had foreseen this very possibility, and was therefore reluctant to continue as a partner, that [Mr and Mrs Giumelli] had made their promises on which he relied.

Nicholson J determined the appropriate measure of relief by reference to his findings as to the second promise. His Honour's findings with respect to the third promise led to the dismissal of that aspect of the case from consideration … [119]

In his supplementary reasons, the primary judge said that the compensation to which Robert was entitled in respect of the second promise was that sum which would place him in the position he would be in if he owned the house on the land on which it was situated and was able now to realise that asset …

[120] The Full Court differed from the primary judge with respect to the third promise. This extended to the promised lot. That being so, the consideration by the Full Court of the appropriate relief was not confined to the house and the land to which it was a fixture. The appellants challenge the width of the specific relief granted by the Full Court. In particular, they emphasise that an order for the creation and conveyance of the promised lot went beyond any "reversal" of the detriment

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occasioned by the respondent in reliance upon the third promise. They submit that it was not open to the Full Court, in a case such as the present, to grant relief which went beyond the reversal of such detriment. In that regard, the appellants claim decisive support from the decision in *Verwayen* (1990) 170 CLR 394. However, in our view and consistently with the course of Australian authority since *Verwayen*, that decision is not authority for any such curtailment of the relief available in this case. (The cases, which include *Blazely v Whiley* (1995) 5 Tas R 254; *Forbes v Australian Yachting Federation Inc* (1996) 131 FLR 241; and *Woodson (Sales) Pty Ltd v Woodson (Aust) Pty Ltd* (1996) 7 BPR 97,590, 14,685, are said to show that "it is only in comparatively rare cases that relief can be granted which neatly reverses the claimant's reliance loss": Robertson, "Reliance and expectation in estoppel remedies" *Legal Studies*, vol 18 (1998) 360, 366–7; cf *Mobil Oil Australia Ltd v Wellcome International Pty Ltd* (1998) 81 FCR 475, 516–8.) Rather, there is much support in the judgments for a broader view of the present matter.

Detriment

[9.165] In their submissions, the appellants stress the need to limit the measure of equitable relief lest the requirement for consideration to support a contractual promise be outflanked and direct enforcement be given to promises which did not give rise to legal rights. However, in *Verwayen* (1990) 170 CLR 394, 454, Dawson J, after pointing out that at common law the role of estoppel was largely as a rule of evidence, stated that in equity its role has been vastly expanded to raise questions of substance. His Honour continued (*Verwayen* (1990) 170 CLR 394, 454): "At the same time, the discretionary nature of the relief in equity [121] marks a further reason why the fear of the common law that promissory estoppel would undermine the doctrine of consideration is unwarranted."

The matter was taken further by McPherson J in *Riches v Hogben* [1985] 2 Qd R 292. (See also Halliwell, "Estoppel: unconscionability as a cause of action" *Legal Studies*, vol 14 (1994) 15, 17, 20–2; Smith, "How Proprietary Is Proprietary Estoppel?", in Rose (ed), *Consensus Ad Idem* (1996) 235, 239–43.) His Honour noted that the critical element is the conduct of the defendant after the representation in encouraging the plaintiff to act upon it (*Riches* [1985] 2 Qd R 292, 300) and continued (*Riches* [1985] 2 Qd R 292, 300–1):

> A consequence of applying the principle may be to complete an otherwise imperfect gift, as in *Dillwyn v Llewelyn* (1862) 4 De GF & J 517; 45 ER 1285, or to give effect to an agreement that, for want of certainty or consideration or of some other essential element, falls short of constituting an enforceable contract. Many of the reported cases are concerned with imperfect gifts; but there is of course a sense in which all agreements made or promises given without consideration are imperfect gifts of the benefits they purport to confer. What distinguishes the equitable principle from the enforcement of contractual obligations is, in the first place, that there is no legally binding promise. If there is such a promise, then the plaintiff must resort to the law of contract in order to enforce it, it being the function of equity to supplement the law not to replace it. The second distinguishing feature is that what attracts the principle is not the promise itself but the expectation which it creates. In that respect it represents the precise converse of what was said by Jessel MR in *Ungley v Ungley* (1877) 5 Ch D 887, 891 to be the basis for enforcing the contract in that case. [The Master of the Rolls there described acts of part performance of the plaintiff which prevented the setting up of the Statute of Frauds as a bar to the specific enforcement of a parol contract respecting an interest in land as indicative of "not a mere expectation, but an actual promise". See also, as to this distinction between promise and expectation as foundations of obligations, McBride, "The Classification of Obligations and Legal Education" in Birks (ed), *The Classification of Obligations* (1997) 71, 75–7.] Finally, the equitable principle has no application where the transaction remains wholly executory on the plaintiff's part. It is not the existence of an unperformed promise that invites the intervention of equity but the conduct of the plaintiff in acting upon the expectation to which it gives rise. That is why in *Dillwyn v Llewelyn* (1862) 4 De GF & J 517, 522–3; 45 ER 1285, 1287, where the son built on

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> land promised but not effectively conveyed to him by a memorandum signed by his father, Lord Westbury LC said that the only inquiry was "whether [122] the son's expenditure, on the faith of the memorandum, supplied a valuable consideration, and created a binding obligation".

In *Olsson v Dyson* (1969) 120 CLR 365, 378, Kitto J observed that the judgment of the Lord Chancellor in *Dillwyn v Llewelyn* seemed to contain two concurrent lines of reasoning. One was that, assuming there was no contract, nevertheless the conduct of the father was such as to bind him in conscience to make the legal situation correspond with the implication and the encouragement given the son to lay out the money. The other was that the father's conduct in encouraging the son to build the house on the footing that the land would be his, when acted upon by the son, created an equity which bound the father to make good the son's expectation.

It is necessary now to say something as to the circumstances which gave rise to the litigation in *Verwayen*, upon which decision the appellants place much reliance. By its defence to an action in tort brought against it by a former naval serviceman, the Commonwealth admitted liability and did not plead that the action was statute-barred or that it had owed no duty of care to the plaintiff because he was injured whilst acting as a serviceman in the course of combat exercises. The failure to plead such defences was in accordance with the then stated policy of the Commonwealth. The question of damages remained in issue. Following a change in that policy, the Commonwealth applied to a Master for leave to amend its defence so as to raise both defences. Leave was opposed (see *Verwayen* (1990) 170 CLR 394, 464, 478) but was granted. There does not appear to have been any appeal brought from the Master's decision. The reports of the litigation in this Court do not disclose any reasons given by the Master.

It would seem that in the exercise of the discretion upon opposition to the grant of such leave, a question arose as to whether, in the light of the past conduct by the Commonwealth of the litigation, leave should be refused. That presented to the Court the task not of adjudicating legal or equitable rights but of assessing the relevant factors. In a comparable situation in England, the House of Lords in *Roebuck v Mungovin* [1994] 2 AC 224, 236 spoke of the decision upon such an application as "a classic exercise of a discretion [by] simply taking the defendants' conduct into account".

However that may be, leave was granted to amend so as to raise both defences. By his reply the plaintiff pleaded that the Commonwealth had waived the two defences and that it was estopped from relying on either. After an interlocutory excursion to the Full Court of the Supreme Court of Victoria (*Verwayen v The Commonwealth* [1988] VR 203), arguments raised by the pleadings were dealt with by the trial judge before a jury was empanelled and as [123] matters of law on agreed facts. The trial judge entered judgment for the Commonwealth (*Verwayen v The Commonwealth [No 2]* [1989] VR 712, 713–7).

In this Court, the majority (Deane, Dawson, Toohey and Gaudron JJ, Mason CJ, Brennan and McHugh JJ dissenting) upheld the reply to the amended defence and decided that the Commonwealth was not free to dispute its liability to the plaintiff. Deane J and Dawson J decided the appeal on the footing of estoppel, the equity being raised by the Commonwealth's conduct being such as could only be accounted for by holding it to the assumed state of affairs before the amended defence. Toohey J and Gaudron J decided that the Commonwealth had waived its right to rely on either defence.

In this Court, the Commonwealth had submitted that the only reliance by the plaintiff had been his apparent decision to continue with the action where, had there been no representation, the action may have been discontinued (*Verwayen* (1990) 170 CLR 394, 397–8). It further submitted that the only detriment flowing from the reliance was legal costs so that to uphold the reply would be to confer a remedy disproportionate to that detriment (*Verwayen* (1990) 170 CLR 394, 398).

Deane J emphasised (*Verwayen* (1990) 170 CLR 394, 443):

> Prima facie, the operation of an estoppel by conduct is to preclude departure from the assumed state of affairs. It is only where relief framed on the basis of that assumed state of affairs would be inequitably harsh, that some lesser form of relief should be awarded.

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His Honour added that ultimately (*Verwayen* (1990) 170 CLR 394, 445):

> the question whether departure from the assumption would be unconscionable must be resolved not by reference to some preconceived formula framed to serve as a universal yardstick but by reference to all the circumstances of the case, including the reasonableness of the conduct of the other party in acting upon the assumption and the nature and extent of the detriment which he would sustain by acting upon the assumption if departure from the assumed state of affairs were permitted.

The prima facie entitlement to which his Honour had referred would be qualified if that relief would "exceed what could be justified by the requirements of conscientious conduct and would be unjust to the [124] estopped party"; an appropriate qualification might be a requirement that the party relying upon the estoppel do equity (*Verwayen* (1990) 170 CLR 394, 442. See, as to the imposition of terms in such a case, *S & E Promotions Pty Ltd v Tobin Brothers Pty Ltd* (1994) 122 ALR 637, 653, 656–7.).

Dawson J (*Verwayen* (1990) 170 CLR 394, 454) referred to such authorities as the speech of Lord Kingsdown in *Ramsden v Dyson* (1866) LR 1 HL 129, 170 and the judgment of McPherson J in *Riches v Hogben* [1985] 2 Qd R 292, 302 as authority for the proposition that avoidance of the detriment involved may require that the party estopped make good the assumption, although his Honour noted that, depending upon the circumstances of the case, the relief required may be considerably less.

Although Gaudron J decided the case on other grounds, her Honour observed (*Verwayen* (1990) 170 CLR 394, 487) that "the substantive doctrine of estoppel permits a court to do what is required to avoid detriment and does not, in every case, require the making good of the assumption". It is apparent from the tenor of these remarks that the detriment was seen as a prejudice which the plaintiff was still suffering at the relevant time, not merely prejudice which had already been sustained before the initiation of action.

Of those judges in the minority, Mason CJ took the position that (*Verwayen* (1990) 170 CLR 394, 412):

> equitable estoppel will permit a court to do what is required in order to avoid detriment to the party who has relied on the assumption induced by the party estopped, but no more. In appropriate cases, that will require that the party estopped be held to the assumption created, even if that means the effective enforcement of a voluntary promise.

His Honour added that if a single overarching doctrine of estoppel be adopted, there would be "no longer any justification for insisting on the making good of assumptions in every case" (*Verwayen* (1990) 170 CLR 394, 412).

Brennan J held that the case before the Court was not one where "the minimum equity needed to avoid the relevant detriment" was the holding of the Commonwealth to its promises by the entry of an interlocutory judgment for the plaintiff and an order for the assessment of his damages (*Verwayen* (1990) 170 CLR 394, 429).

McHugh J concluded that what will be required to satisfy the equity which arises against the party estopped depends on the circumstances and that, whilst often the only way to prevent the promisee suffering detriment will be to enforce the promise, in the present case there was [125] no equitable estoppel established because there had been no representation by the Commonwealth as to present or past facts (*Verwayen* (1990) 170 CLR 394, 501).

The upshot is that the respondent is correct in his submissions that the reasoning in the judgments in *Verwayen* does not foreclose, as a matter of doctrine, the making in the present case of an order of the nature made by the Full Court.

The circumstances of the case

[9.170] However, the appellants correctly challenge the Full Court order on other grounds. Before making an order designed to bring about a conveyance of the promised lot to the respondent, the

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Full Court was obliged to consider all the circumstances of the case. These circumstances included the still pending partnership action, the improvements to the promised lot by family members other than Robert, both before and after his residency there, the breakdown in family relationships and the continued residence on the promised lot of Steven and his family. It will be recalled that Steven is a party to the partnership action but not to the present action.

When these matters are taken into account, it is apparent that the order made by the Full Court reflected what in *Verwayen* was described as the prima facie entitlement of Robert. However, qualification was necessary both to avoid injustice to others, particularly Steven and his family, and to avoid relief which went beyond what was required for conscientious conduct by Mr and Mrs Giumelli. The result points inexorably to relief expressed not in terms of acquisition of title to land but in a money sum. This would reflect, with respect to the third promise, the approach taken by Nicholson J when giving relief in respect of the second promise.

Conclusion

[9.175] Whilst the holding of the Full Court with respect to the third promise should be upheld, the Full Court erred in the measure of relief which it granted in respect of the promised lot. This is a case for the fixing of a money sum to represent the value of the equitable claim of the respondent to the promised lot. It will be necessary for the matter to be remitted to a judge of the Supreme Court to take that step. The amount so ascertained, with interest, should be charged upon the whole of the Dwellingup property. There will be no requirement of a subdivision of the promised lot as part of the remedy.

Fixing of the amount will require the making of valuations and allowances for a range of matters, some of which have been indicated above. It is neither possible nor appropriate now to fix any closed list of matters properly to be taken into account when the matter is [126] remitted (cf *Stratulatos v Stratulatos* [1988] 2 NZLR 424, 440–1). Further submissions and, if that court so chooses, additional evidence will be needed ….

On one view, as to which we express no decision, for what is now some twelve years, the respondent has been deprived of a share of profits earned by the partnership from the promised lot and of rent from the house. Further, in fixing the sum to represent an appropriate monetary order there may be a case for an allowance in his favour representing a share of anticipated profits from the partnership in relation to the promised lot for a specified period of future years, perhaps contingent upon the joint lives of Mr and Mrs Giumelli.

On the other hand, an allowance would have to be made for the improvement to the value of the land since 1986 brought about, in particular, by Steven's work. In addition to the planting of fruit trees and the construction of sheds and coolrooms, the appellants contend there has been significant expenditure on water supply and storage systems.

[9.180] KIRBY J: [127] In relation to what was called the "third promise" (*Giumelli v Giumelli* (1996) 17 WAR 159, 162, per Rowland J), I prefer the conclusions of Ipp J (*Giumelli v Giumelli* (1996) 17 WAR 159, 174–5 (Franklyn J concurring)) in the Full Court to those reached by the primary judge (Nicholson J. His reasons are set out by the other members of this Court.). My reasons are generally the same as those of the other members of this Court. I also agree with their conclusion that the principles established by this Court in *The Commonwealth v Verwayen* (1990) 170 CLR 394 did not preclude the making of an order of the kind made by the Full Court. I cannot add to their Honours' analysis of the applicable rule.

However, I also agree that, in framing its orders, and fashioning the equitable relief which should be granted to Mr Robert Giumelli, the Full Court was obliged to consider, amongst the circumstances of the case, the matters which stood in the way of a simple order to convey to him the land envisaged by the "promised lot". Unless allowance [128] were made, in that regard, for the outstanding partnership suit, for the improvements effected upon the land by other members of the Giumelli family (and for

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the actual residence on the land by Mr Steven Giumelli, his wife and their children), the order made would exceed the requirements of conscientious conduct on the part of the late Mr Giumelli senior and his wife.

Once that conclusion is reached it is inevitable that the equitable relief proper to all of the circumstances of the case was the provision to Mr Robert Giumelli of a money sum rather than the conveyance to him of the "promised lot".

Appeal allowed.

Sidhu v Van Dyke

[9.182] *Sidhu v Van Dyke* [2014] HCA 19; (2014) 251 CLR 505 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: A married couple (the Sidhus) owned a rural property (Burra Station) and lived in the main homestead. They let a cottage on the property (Oaks Cottage) to Mrs Sidhu's brother (Svenson) and his wife (Van Dyke, the *respondent*), where Svenson and Van Dyke lived with their newborn son. Mr Sidhu (the *appellant*) and Van Dyke later embarked on a sexual relationship, in the course of which the appellant promised the respondent that he would subdivide the property and transfer the cottage to her so that she would have somewhere to raise her son. When Van Dyke and Svenson separated, Sidhu told Van Dyke that she did not need a property settlement from Svenson because she had the cottage, and accordingly she did not seek a property settlement. Van Dyke spent time and effort maintaining and improving the cottage and the Sidhus' land, and refrained from seeking full-time employment for several years. Although approval for a subdivision was granted by the local council, the land was not subdivided and the cottage was later destroyed in a fire. The relationship between Van Dyke and Sidhu broke down and Mr and Mrs Sidhu refused to convey any land to the respondent. Van Dyke sought relief on the basis of equitable or proprietary estoppel. The primary judge held that it was not reasonable for Van Dyke to rely on the promises because they were conditional on the subdivision of the land, which required the consent of Mrs Sidhu. Moreover, her Honour held that Van Dyke had not established that she did in fact rely on the promises, other than in giving up the opportunity to seek a property settlement when she divorced. Maintaining and improving the property and giving up the opportunity for full-time employment were things Van Dyke may have done in any event. The Court of Appeal held that the primary judge should have applied a presumption of reliance which shifts the burden of proof to the representor to establish that the relying party did not rely on the promises in acting to her detriment. Since the evidence was insufficient to displace such a presumption the appeal was allowed and Sidhu was ordered to pay compensation to Van Dyke representing the value of the land that was promised.]

FRENCH CJ, KEIFEL, BELL AND KEANE JJ: [2] In *Giumelli v Giumelli* (1999) 196 CLR 101, 112 [6], it was said that the category of equitable estoppel that is usually traced back to the decisions in *Dillwyn v Llewelyn* (1862) 4 De GF & J 517; 45 ER 1285 and *Ramsden v Dyson* (1866) LR 1 HL 129 is now a "well recognised variety of estoppel as understood in equity", which affords relief "found in an assumption as to the future acquisition of ownership of property … induced by representations upon which there had been detrimental reliance by the plaintiff". The questions which arise in this appeal concern the sufficiency of proof of detrimental reliance required to give rise to a sound claim for relief based on that category of estoppel; and the appropriate measure of equitable compensation where an order for the transfer of the property in question to the plaintiff is not made for reasons of hardship to a third party.

…

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Appellant's submissions

[45] The appellant made two broad submissions. The first was that the Court of Appeal reversed the onus of proof in relation to whether the respondent relied on the appellant's promises. The adoption and application of the "presumption of reliance" by the Court of Appeal was said to be contrary to the decision of this Court in *Gould v Vaggelas* (1985) 157 CLR 215.

[46] The appellant's second broad submission was that the Court of Appeal erred in ordering the payment of equitable compensation measured by reference to the value of the appellant's promises. The appellant argued that his assurances were conditional upon the subdivision of the property and the consent of his wife, and contended that the Court of Appeal should have limited the relief granted to the respondent to what was necessary to compensate the respondent for the loss she suffered by relying on his promises.

Respondent's submissions

[47] The respondent submitted that the "presumption of reliance" applied by the Court of Appeal is consistent with the approach in *Gould v Vaggelas*, applied by the Victorian Court of Appeal in *Flinn v Flinn* [1999] 3 VR 712, 749 [117], in that both approaches have the same effect, namely, to give rise to an evidentiary onus to rebut an inference that arises where a promise is made and the natural tendency of the promise is to induce relevant conduct in the promisee.

[48] The respondent sought and was given leave to file a notice of contention whereby she sought to sustain the decision of the Court of Appeal on the footing that the appellant did not discharge the evidentiary onus which was upon him to rebut the inference of reliance which naturally arose from the respondent's conduct following the appellant's promises.

[49] The respondent submitted that the measure of relief granted by the Court of Appeal was correct in that a party setting up an equitable estoppel relating to an unperformed promise is prima facie entitled to enforcement of the promise unless there are special circumstances warranting different relief, and there were no such circumstances present here.

Reliance: onus of proof and inference

[50] The respondent sought to neutralise the appellant's first submission by arguing that, in this case, the Court of Appeal did no more than apply what Brooking JA described in *Flinn v Flinn* [1999] 3 VR 712, 749 [117] as a "commonsense and rebuttable presumption of fact that may arise from the natural tendency of a promise". This argument must be rejected. The observations by Brooking JA in *Flinn v Flinn* do not support the proposition accepted by Barrett JA that "[w]here inducement by the promise may be inferred from the claimant's conduct … the onus or burden of proof shifts to the defendant to establish that the claimant did not rely on the promise."

[51] In *Newbon v City Mutual Life Assurance Society Ltd* (1935) 52 CLR 723 at 735, Rich, Dixon and Evatt JJ, speaking of a case where the party setting up the estoppel asserted a failure to take action in reliance upon an assumption allegedly induced by the conduct of the defendant, said:

> Where inaction is the natural consequence of the assumption, the prima facie inference may be drawn in favour of the causal connection … Any general presumptive connection between inaction and a belief in a state of facts must depend upon probabilities which arise from the common course of affairs, and accordingly must be governed by circumstances.

[52] In *Gould v Vaggelas* (1985) 157 CLR 215, 250, Wilson J, with whom Gibbs and Dawson JJ agreed, speaking of an action in deceit, said:

> If a material representation is made which is calculated to induce the representee to enter into a contract and that person in fact enters into the contract there arises a fair inference of fact that he was induced to do so by the representation.

[53] It is apparent that in the passage cited from the plurality judgment in Newbon v City Mutual Life Assurance Society Ltd, their Honours were speaking of a "presumptive connection" as the equivalent of the "fair inference" of which Wilson J spoke.

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[54] In *Gould v Vaggelas* (1985) 157 CLR 21, 250, Brennan J said:

> An inference of inducement may be drawn when a party enters into a contract after a material representation has been made to him, but it is no more than an inference of fact and it is settled law that such an inference may be rebutted by the facts of the case.

[55] Nothing in the judgments in *Gould v Vaggelas* suggests that the onus of proof in relation to detrimental reliance shifts to the defendant in any circumstances. (See also *Redgrave v Hurd* (1881) 20 Ch D 1, 21; *Smith v Chadwick* (1882) 20 Ch D 27, 44; affd (1884) 9 App Cas 187, 196; *Arnison v Smith* (1889) 41 Ch D 348, 369; *Holmes v Jones* (1907) 4 CLR 1692, 1707, 1711.)

[56] The line of English authority on which Barrett JA relied was founded on the statement by Lord Denning MR in *Greasley v Cooke* [1980] 1 WLR 1306, 1311-1312 that "[t]here [was] no need for [the promisee] to prove that she acted to her detriment or to her prejudice." In the present case, this statement was treated as involving a shift in the burden of proof on the issue of detrimental reliance.

[57] Lord Denning's view is contrary to observations of high authority in *Smith v Chadwick* (1884) 9 App Cas 187, 196 by Lord Blackburn, with whom the Earl of Selborne LC and Lord Watson agreed. Lord Blackburn spoke of the circumstances in which a fair inference of fact might be drawn in terms substantially repeated by Wilson J in the passage from *Gould v Vaggelas* set out above; but his Lordship expressly rejected the suggestion that a defendant might be obliged to disprove inducement once the making of a material representation had been proved.

[58] In point of principle, to speak of deploying a presumption of reliance in the context of equitable estoppel is to fail to recognise that it is the conduct of the representee induced by the representor which is the very foundation for equitable intervention. Reliance is a fact to be found; it is not to be imputed on the basis of evidence which falls short of proof of the fact. It is actual reliance by the promisee, and the state of affairs so created, which answers the concern that equitable estoppel not be allowed to outflank *Jorden v Money* (1854) 5 HLC 185, 210, 212-213; 10 ER 868, 880-881 by dispensing with the need for consideration if a promise is to be enforceable as a contract (*Commonwealth v Verwayen* (1990) 170 CLR 394, 410, 416). It is not the breach of promise, but the promisor's responsibility for the detrimental reliance by the promisee, which makes it unconscionable for the promisor to resile from his or her promise. In *Giumelli v Giumelli* (1999) 196 CLR 101, 121 [35], Gleeson CJ, McHugh, Gummow and Callinan JJ approved the statement of McPherson J in *Riches v Hogben* [1985] 2 Qd R 292, 301 that:

> It is not the existence of an unperformed promise that invites the intervention of equity but the conduct of the plaintiff in acting upon the expectation to which it gives rise.

[59] It may be that Lord Denning's view will no longer be understood in England in the way it seems to have been understood by the Court of Appeal in this case …

[60] It may also be that the application of Lord Denning's view would not lead to an outcome in the present case different from that which follows from the application of the orthodox approach.

[61] Be that as it may, this aspect of the appellant's submission must be accepted. The approach suggested by Lord Denning should not be applied in Australia. The legal burden of proof borne by a plaintiff did not shift (*Holmes v Jones* (1907) 4 CLR 1692, 1706, 1710; *Gould v Vaggelas* (1985) 157 CLR 215, 238-239). To speak of a shifting onus of proof is both wrong in principle and contrary to authority. The respondent at all times bore the legal burden of proving that she had been induced to rely upon the appellant's promises.

The respondent's notice of contention

[62] The respondent's notice of contention raised the argument that the appellant did not discharge the evidentiary onus to displace the inference of reliance which fairly arose from the respondent's conduct in response to the appellant's promises.

[63] It may be said immediately that to speak of an evidentiary onus upon the appellant is to create a risk of distraction from the required analysis. To speak of the evidentiary onus in its strict legal

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connotation is to speak of the burden of adducing or pointing to sufficient evidence to raise an issue for determination by the court (*Purkess v Crittenden* (1965) 114 CLR 164, 167-168; *Cross on Evidence*, 9th Aust ed (2013), 290 [7200]-[7205]). In the present case, there can be no doubt that the issue as to the respondent's reliance upon the appellant's promises was a live issue.

[64] The real question was as to the appropriate inference to be drawn from the whole of the evidence, including the answers elicited from the respondent in the course of cross examination. In that regard, as was said by Gummow, Hayne, Heydon and Kiefel JJ in *Campbell v Backoffice Investments Pty Ltd* [2009] HCA 25; (2009) 238 CLR 304, 351 [143], consideration of the application of the process of reasoning adumbrated by Wilson J in *Gould v Vaggelas* "must always attend closely to all of the evidence that is adduced that bears upon the question being examined."

[65] One should not be deflected by considerations of terminology from dealing with the substance of the argument raised by the respondent's notice of contention. It is sufficiently clear that the notion of evidentiary onus is not being used in its strict legal sense …

[66] It may, therefore, be accepted that the respondent's notice of contention sufficiently raises the question, to adapt the words of Wilson J in *Gould v Vaggelas* (1985) 157 CLR 215, 238-239, whether, when all the facts are in, the court is satisfied on the balance of probabilities that the promises in question contributed to the respondent's conduct in deciding to commit to her relationship with the appellant and adhering to that relationship (with all that that entailed) for eight and a half years. We now turn to a consideration of that question.

[67] Counsel for the appellant argued that the respondent's answers in the course of cross examination as to what she would have done had the appellant's promises not been made to her were so equivocal that the primary judge was right to conclude that the respondent had not discharged the onus of proving that she would not have "remained on the property and … done what she had done in any event." That argument should be rejected. To reject that argument, it is not necessary to rely upon any shifting of the onus of proof. A review of the whole of the evidence shows that the respondent had made out a compelling case of detrimental reliance.

[68] First, there is the evidence-in-chief of the respondent. It may be noted that the primary judge considered the respondent to be a truthful witness. In the respondent's evidence in chief she had said that:

> As a result of the [appellant's] repeated promise of the Oaks Property to me … I did not seek or engage in any full time paid work in the 8.5 years between January 1998 and July 2006 … [I]n the belief that I had a home in the Oaks Property, I chose instead to improve the Oaks and to repay the [appellant] in every way that I could using all the time and energy that I had for what I believed was his generous gift to me … I also lost the opportunity to obtain a property settlement from my divorce … [and] the opportunity to purchase a property for my son and me from money from my divorce settlement and salary from a full time job.

[69] That evidence was likely, as a matter of the probabilities of human behaviour, to be true. Indeed, it would be remarkable if the appellant's promises did not have some influence upon the respondent's decision to stay on and work at Burra Station. Upon the breakdown of the respondent's marriage, she was confronted with difficult decisions relating to the course of her life and the care and maintenance of her child. The appellant's promises were objectively likely to have had a significant effect upon the decision making of a person in the respondent's position. The appellant's assurances were integral to his proposal to the respondent to put their relationship on a firm long term footing. It is unlikely that she would have thrown in her lot with the appellant and exerted herself as she did over a period of eight and a half years if he had not made the promises which he in fact made. To the contrary, it is likely that she would have sought to maximise her own income for the benefit of herself and her infant son by seeking the most gainful form of employment.

[70] Secondly, the primary judge said:

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> I have no doubt that [the respondent] placed faith in [the appellant] and in the promises he made her and that this played a part in her willingness to spend time and effort in the maintenance and improvement of The Oaks Cottage and assisted [sic] on the Burra Station property.

[71] Her Honour's finding that the appellant's promises "played a part in her willingness to spend time and effort in the maintenance and improvement of The Oaks Cottage and assisted on the Burra Station property" warranted the conclusion that the respondent had discharged the onus she bore on the basis that to establish estoppel by encouragement it is not necessary that the conduct of the party estopped should be the sole inducement operating on the mind of the party setting up the estoppel (Handley, *Estoppel by Conduct and Election* (2006) at 170 [11-011]). Counsel for the appellant disputed this proposition but did not cite any authority in support of their position. The respondent's position is amply supported by authority.

…

[78] In summary, on all the evidence, it should be found that the respondent was induced to remain at the property and to continue to work for the appellant and his wife by the assurances which he made. It is unconscionable for the appellant now to resile from his assurances.

The measure of relief

[79] In *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387, 418-419, Brennan J said:

> The protection which equity extends is analogous to the protection given by estoppel in pais to which Dixon J referred in *Grundt v Great Boulder*, ie, protection against the detriment which would flow from a party's change of position if the assumption (or expectation) that led to it were deserted. (footnote omitted)

[80] In *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641, 674-675, Dixon J, speaking of estoppel in pais, said:

> [I]t is often said simply that the party asserting the estoppel must have been induced to act to his detriment. Although substantially such a statement is correct and leads to no misunderstanding, it does not bring out clearly the basal purpose of the doctrine. That purpose is to avoid or prevent a detriment to the party asserting the estoppel by compelling the opposite party to adhere to the assumption upon which the former acted or abstained from acting. This means that the real detriment or harm from which the law seeks to give protection is that which would flow from the change of position if the assumption were deserted that led to it. So long as the assumption is adhered to, the party who altered his situation upon the faith of it cannot complain. His complaint is that when afterwards the other party makes a different state of affairs the basis of an assertion of right against him then, if it is allowed, his own original change of position will operate as a detriment. His action or inaction must be such that, if the assumption upon which he proceeded were shown to be wrong and an inconsistent state of affairs were accepted as the foundation of the rights and duties of himself and the opposite party, the consequence would be to make his original act or failure to act a source of prejudice.

[81] This statement of principle has been applied in the context of this category of equitable estoppel in Australia: *Donis v Donis* (2007) 19 VR 577, 593-594 [54]; *Delaforce v Simpson Cook* (2010) 78 NSWLR 483, 491 [42]. See also *Cameron v Murdoch* [1983] WAR 321, 351-352; *Sullivan v Sullivan* (2006) 13 BPR 24,755. In England, in *Gillett v Holt* [2001] Ch 210, 232-233, Robert Walker LJ also applied the statement by Dixon J to the resolution of the issue of detrimental reliance in a case of equitable estoppel.

[82] In *Giumelli v Giumelli* (1999) 196 CLR 101, 112 [6], 123-125 [40]-[48], Gleeson CJ, McHugh, Gummow and Callinan JJ held that, because the fundamental purpose of equitable estoppel is to

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protect the plaintiff from the detriment which would flow from the defendant's change of position if the defendant were to be permitted to resile from his or her promise, the relief granted may require the taking of active steps by the defendant including the performance of the promise and the performance of the expectation generated by the promise. That holding is supported by the leading decisions to which this category of equitable estoppel is usually traced: *Dillwyn v Llewelyn* (1862) 4 De GF & J 517; 45 ER 1285; *Ramsden v Dyson* (1866) LR 1 HL 129; *Riches v Hogben* [1985] 2 Qd R 292; *Commonwealth v Verwayen* (1990) 170 CLR 394.

[83] The requirements of good conscience may mean that in some cases the value of the promise may not be the just measure of relief. In *Commonwealth v Verwayen* (1990) 170 CLR 394, 441, Deane J noted that:

> There could be circumstances in which the potential damage to an allegedly estopped party was disproportionately greater than any detriment which would be sustained by the other party to an extent that good conscience could not reasonably be seen as precluding a departure from the assumed state of affairs if adequate compensation were made or offered by the allegedly estopped party for any detriment sustained by the other party.

[84] If the respondent had been induced to make a relatively small, readily quantifiable monetary outlay on the faith of the appellant's assurances, then it might not be unconscionable for the appellant to resile from his promises to the respondent on condition that he reimburse her for her outlay. But this case is one to which the observations of Nettle JA in *Donis v Donis* (2007) 19 VR 577, 588-589 [34] are apposite:

> [H]ere, the detriment suffered is of a kind and extent that involves life changing decisions with irreversible consequences of a profoundly personal nature … beyond the measure of money and such that the equity raised by the promisor's conduct can only be accounted for by substantial fulfilment of the assumption upon which the respondent's actions were based.

[85] The appellant's argument, rightly, sought no support from the discussion in cases decided before *Giumelli v Giumelli* of the need to mould the remedy to reflect the "minimum relief necessary to 'do justice' between the parties" (*Commonwealth v Verwayen* (1990) 170 CLR 394, 416, see also 429; *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387, 404-405, 419). There may be cases where "[i]t would be wholly inequitable and unjust to insist upon a disproportionate making good of the relevant assumption" (*Commonwealth v Verwayen* (1990) 170 CLR 394, 413); but in the circumstances of the present case, as in *Giumelli v Giumelli*, justice between the parties will not be done by a remedy the value of which falls short of holding the appellant to his promises. While it is true to say that "the court, as a court of conscience, goes no further than is necessary to prevent unconscionable conduct" (*Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387, 419), where the unconscionable conduct consists of resiling from a promise or assurance which has induced conduct to the other party's detriment, the relief which is necessary in this sense is usually that which reflects the value of the promise.

[86] In the circumstances of the present case, no reason has been identified by the appellant to conclude that good conscience does not require that the appellant be held to his promises. In particular, it is no answer for the appellant to say that the performance of his promises was conditional on the completion of the subdivision and the consent of his wife to the transfer to the respondent. His assurances to the respondent were expressed categorically so as to leave no room for doubt that he would ensure that the subdivision would proceed and that the consent of the appellant's wife would be forthcoming.

[GAGELER J agreed with the joint reasons and added some brief observations.]

Appeal dismissed.

[9.183] In *Pipikos v Tryans* [2018] HCA 39, [60]–[61] (extracted at [7.95]) Kiefel CJ, Bell, Gageler and Keane JJ distinguished part performance from equitable estoppel on the basis that equitable estoppel is concerned to protect against detriment, and so the measure of relief is limited by what is required to protect against detriment.

[9.185] Three questions about the scope of equitable estoppel remain unresolved. The first is whether a unified a doctrine of "equitable estoppel" now operates in Australian law, or whether a distinction between promissory and proprietary estoppel is still maintained. On this question, see *Saleh v Romanous* [2010] NSWCA 274; (2010) 79 NSWLR 453, extracted at [12.170], and Robertson, "Three Models of Promissory Estoppel" (2013) 7 *Journal of Equity* 226. Assuming there is a unified doctrine of equitable estoppel, the second question is whether it can operate only in relation to an assumption that a particular legal relationship will exist between the parties, or whether it can apply to an assumption that the representor will act in a particular way in the future, outside a legal relationship. For example, if A promises to make a gift of $5,000 to B, and this is detrimentally relied upon by B, can an equitable estoppel arise? The third question is whether equitable estoppel operates independently as a source of rights. In other words, does it provide a cause of action in itself, or can it be used only in support of another cause of action? In *Waltons Stores v Maher*, for example, was the plaintiff suing on the basis of contract or on the basis of estoppel? *W v G* (1996) 20 Fam LR 49 provides an example of the application of equitable estoppel in its widest possible formulation, which is not limited to an existing or expected legal relationship between the parties, and which can operate independently to provide a cause of action. The formulation of equitable estoppel adopted in *W v G* can be contrasted with that adopted by Brennan J in *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387, 428–9 [9.60], and with the doctrine of promissory estoppel described in *Saleh v Romanous* [2010] NSWCA 274; (2010) 79 NSWLR 453 (extracted at [12.170]).

EQUITABLE ESTOPPEL AS A CAUSE OF ACTION

W v G

[9.190] *W v G* (1996) 20 Fam LR 49 (Supreme Court of New South Wales – Action).

[FACTS: The plaintiff and the defendant lived together in a lesbian relationship for several years. During the course of the relationship, the *plaintiff* conceived and gave birth to two children through a process of artificial insemination, in which the *defendant* assisted. The semen was provided by an acquaintance on the basis that he would have no involvement with or responsibility for the children. The plaintiff and the defendant later separated. The plaintiff instituted the present proceedings seeking, inter alia, child support.]

HODGSON J: [56] The plaintiff's claim for child support was put on the following basis. By virtue of her [the defendant's] statements and her conduct by way of support for the plaintiff and her participation in the actions leading to the impregnation of the plaintiff and by her silence as to any contrary view, the defendant created or encouraged in the plaintiff a belief or assumption, or otherwise could be said to have promised to [57] the plaintiff, that she, the defendant, would accept the role of parent to each of the children, and would in so doing accept responsibility for the material and general welfare of both children, and would support the plaintiff in providing for the needs of both children and of the plaintiff as their mother. In reliance on that promise or assumption, the plaintiff acted to her detriment by going about the actions which led to her

W v G cont.

conceiving each child and carrying each child to term. The defendant knew or intended that the plaintiff would act in reliance on the assumption; and the plaintiff's action in so relying will occasion detriment if the assumption or expectation is not fulfilled, in that the plaintiff will be left to bear the costs of providing for the material welfare of both children until they reach adulthood, and otherwise the plaintiff will suffer detriment in the form of income and opportunities foregone by virtue of her pregnancies, and also by virtue of the obligation she bears towards both children in terms of parenting and the provision of care. The defendant had failed to act to avoid that detriment, her action was unconscionable, and it was appropriate for the Court to give effect to the resulting estoppel by ordering payment of an appropriate lump sum by the defendant to the plaintiff in respect of child support … [65]

(b) Public policy and clean hands

[9.195] Mr Blackburn-Hart submitted that the plaintiff had participated in an agreement which attempted to exclude the known biological father from supporting and assisting to rear his own children; see *Nancy S v Michael G* 279 Cal Rptr 212, 219. The plaintiff in effect was seeking specific performance of an agreement which has this consequence. He submitted that the paramount consideration in the practice of artificial insemination is the protection of public health and the welfare of the child. He submitted that the formation of stable families is a socially desirable necessary aim; and to visit legal obligations upon non-parents to support a child in a homosexual or lesbian relationship is contrary to public policy in that: it will encourage the conception of children by artificial insemination in the absence of a father; will present as "normal" a relationship which is not recognised by the child maintenance legislation; it will encourage the evasion of provisions of the *Human Tissue Act*; and will encourage the bringing into the world of children without a father. See *Re Marriage of AJN and JMN* 144 WIS 2d 99, 414 NW 2d 68 (1987). Furthermore, he submitted, the plaintiff has unclean hands and cannot rely on the defendant's alleged unconscionable conduct to obtain financial support for the children, because of her own part in making the agreement and forming it.

I note that the defence in this case does not contain any pleading of a defence of public policy or unclean hands, and it is questionable whether such defences could be relied on without an amendment. In any event, I do not believe it is contrary to public policy for a court to find that a person who is living in a lesbian relationship with the mother of a child, conceived by artificial insemination, and who also participates in the act of conception and acts as a parent to the child or children thereby conceived, is liable to provide material support for that child. If it is thought desirable to discourage the use of artificial conception procedures in circumstances where there are not two people who undertake to be the parents of the child, then that would need to be addressed by the legislature.

(c) Elements of estoppel

[9.200] Mr Evans relied on the principles of equitable estoppel laid down by the High Court in *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387 as applied, for instance, in *S and E Promotions Pty Limited v Tobin Bros* (1994) 122 ALR 637. See also the statement of principle of Priestley, JA in *Austotel Pty Limited v Franklin Self-Serve Pty Limited* (1989) 16 NSWLR 582, 615–6, and *Austral Standard Cables* [66] *Pty Limited v Walker Nominees* (1992) 26 NSWLR 524, 540. I summarised how Mr Evans sought to apply these principles to the present case under the heading "Issues" above.

Mr Blackburn-Hart submitted that I should not accept that the plaintiff had relied on any assumption created by the defendant, and that, if there was any reliance, such reliance was unreasonable. He noted that neither the donor of the semen nor the plaintiff's acquaintance who introduced him were called as witnesses. He submitted that any reliance would have been unreasonable, because it was highly unlikely that the relationship would endure (in that the plaintiff was bisexual, there were constant fights and arguments, there were separations of a total of seven months during the relationship, the relationship was "just crazy all the time"). Furthermore, he submitted, in the context of this relationship having children was not a detriment: it was contrary to public policy to

W v G cont.

hold that a woman has acted to her detriment in allowing a normal pregnancy to continue: cf *Cook v Cook* (1986) DFC 95-039, 75,433, and the authorities cited by Kirby, P in *CES v Superclinics*, Court of Appeal, 22nd September 1995, unreported. Mr Blackburn-Hart also relied on obiter comments by Deane, J in *Commonwealth v Verwayen* (1990) 170 CLR 394, 444–5, to the effect that estoppel may be used as a sword only where the claim is based on an independent cause of action arising under ordinary principles of law. Further, there had to be proportionality between the remedy and the detriment, and there could be no proportionality where no claim was made against the biological father.

In my opinion, there was in this case the creation or encouragement by the defendant in the plaintiff of an assumption that a promise by the defendant would be performed, namely a promise that the defendant would act with the plaintiff as parents of the two children, and would assist and contribute to the raising of these children, for so long as this was necessary. In my opinion, the plaintiff did rely on this assumption in deciding to have each of the children, and the defendant knew or intended that she would do so. I do not understand it to be an independent part of the plaintiff's cause of action that she establish that her reliance was reasonable, and I do not consider it necessary for me to make a positive finding that the plaintiff's conduct was reasonable. However, I do not consider that there was any such element of unreasonableness as to prejudice the finding that there was reliance, and that this was intended by the defendant.

On the question of detriment, I do not believe that it is necessary in this case to find that the plaintiff is worse off having had the children than she would have been if she had not had them, all things considered; thereby raising both difficult public policy issues as well as difficult issues of balancing benefits and detriments. In my opinion, it is sufficient that the plaintiff is now faced with the expensive and onerous task of bringing up two children on her own, as a result of her reliance on an assumption encouraged by the defendant; whereas if the defendant had acted in accordance with that assumption, the plaintiff would have had the defendant's assistance in this task. In my opinion, that is a sufficient detriment. In my opinion also, it is unconscionable for the defendant now to seek to make no contribution whatsoever to the upbringing of the children. Accordingly, in my opinion, the plaintiff is entitled to relief on the basis of equitable estoppel.

8. Quantification

[9.205] The plaintiff relied on a report by Professor Peter McDonald as to the cost of raising children from the end of May 1994 to each child's 18th birthday. Based [67] on what he calls the Expenditure Survey approach, Professor McDonald produced a table showing this cost, relative to various levels of parental gross income …

> [On the basis of that report, Hodgson J held that the defendant should provide the sum of $151,125, which represented half of the cost of raising the children. Hodgson J held that the indirect cost of the children to the plaintiff (lost wages) should not be included "both because it was primarily the plaintiff's wish to have children (so that fairness does not require that the defendant share indirect costs), and also because this would raise the almost impossible question of balancing the benefits and burdens to the plaintiff of having children." (at 67)]

9. Conclusion

[9.210] For the reasons I have given, I propose to order that the defendant provide just over $150 000.00 towards the costs of raising the children. I would not propose that this be made by way of outright payment to the plaintiff. The payment is not to the plaintiff for her benefit, but must strictly be used for the benefit of the children. Furthermore, it is necessary to protect the interests of the community, which has already paid substantial child support to the plaintiff and no doubt will continue to do so, by ensuring that this award is used appropriately and that continuing child support is provided at an appropriate level and on an appropriate basis. In my opinion, the most appropriate application of this money would be to buy annuities for each child, providing for monthly payments to the plaintiff for the benefit of the children, in equal amounts, to run out when each child attains

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18 years. Until that happens, the money should be placed in an interest bearing account in the names of both solicitors, with interest being credited monthly, if that can be arranged, and immediately paid out to the plaintiff for the benefit of the children.

[9.215] **Note**

For another clear example of equitable estoppel being used as an independent cause of action, see *Gray v National Crime Authority* [2003] NSWSC 111. The plaintiffs in that case entered the witness protection program operated by the National Crime Authority (NCA) on the faith of assurances that the NCA would make good any financial disadvantage they suffered from doing so. The NCA later terminated the witness protection arrangements without compensating the plaintiffs for all of the financial losses they had suffered as a result of entering the program. Austin J said:

> [157] In my opinion Australian law provides a cause of action to a person in the position of the plaintiffs, enabling that person to obtain equitable relief when the ingredients of equitable estoppel summarised in Priestley JA's two judgments [see [9.70]] are satisfied. Those ingredients are, in summary:
>
> (a) some representation or promise or conduct by the defendant,
>
> (b) which creates or encourages in the plaintiff an assumption,
>
> (c) the assumption being that a contract will come into existence or a promise be performed or an interest granted to the plaintiff by the defendant,
>
> (d) reliance on that assumption by the plaintiff, and
>
> (e) circumstances where departure from the assumption by the defendant would be unconscionable.

Austin J awarded the plaintiffs equitable compensation to make good their financial losses. The amount of compensation awarded to the plaintiffs was reduced by the New South Wales Court of Appeal (*Australian Crime Commission v Gray* [2003] NSWCA 318), where Mason P noted (at [40]) that in this case the principles of equitable estoppel were "generously applied in favour of Mr and Mrs Gray and unchallenged as to their capacity to ground a monetary award, whatever the law of contract might possibly entail."

CHAPTER **10**

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INTRODUCTION

[10.05] This chapter is concerned with restitution for unjust enrichment. It is necessary to begin by distinguishing between *restitution* (which describes the type of remedy we are concerned with) and *unjust enrichment* (which describes the source of the obligations we are concerned with). The law of restitution is concerned with the recovery of gains made at the expense of others. In the cases in this chapter, restitutionary remedies are granted as a response to unjust enrichment. In these cases, preventing unjust enrichment is the reason for liability.

The two restitutionary claims that most commonly arise in connection with contracts are the claim to recover *money paid* to another party (sometimes called an action for money had and received) and the claim to recover *reasonable remuneration for services* performed (sometimes called an action for a *quantum meruit* – the amount earned). These two actions, along with the claim to recover a reasonable price for goods delivered (*quantum valebant* – the amount they are worth), were previously known as "quasi-contractual" actions because they were based on an implied or fictitious contract. They developed at a time when a legal claim needed to be brought within one of the recognised writs or "forms of action", and no writ was available to make a restitutionary claim. The courts therefore adopted the fiction of an "implied contract" in order to allow a plaintiff seeking to recover money or the reasonable value of services or goods to issue a recognised writ. The forms of action were abolished in the 19th century, and more recently the courts have recognised that the basis of these claims is not an implied contract, but an obligation imposed by law in order to prevent unjust enrichment (see *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221, extracted at [10.20]). These claims are now known as restitutionary claims, or claims based on unjust enrichment, rather than "quasi-contractual" claims.

In Chapter 9, we saw that the principles of estoppel operate in a range of situations to supplement the law of contract by preventing harm arising from detrimental reliance by one party on inconsistent conduct of another. The law of estoppel prevents or compensates

certain harm which is not compensable under ordinary contract principles. Similarly, the law of restitution operates in a range of situations to allow the recovery of certain unjust gains which are not recoverable under ordinary contractual principles. There are several contractual contexts in which benefits (in the form of money, services or goods) may be conferred by one party on another but are not recoverable or compensable under the law of contract:

1. Benefits may be conferred in anticipation of a contract that does not materialise (see, eg, *Leading Edge Events Australia Pty Ltd v Te Kanawa* [2007] NSWSC 228 and *Yeoman's Row Management Ltd v Cobbe* [2008] UKHL 55).
2. Benefits may be conferred under a contract that is unenforceable or void (see *David Securities Pty Ltd v Commonwealth Bank of Australia Ltd* (1991) 175 CLR 353, extracted at [10.30]). In particular, benefits may be conferred under a contract that is:
   (a) unenforceable because of a failure to comply with a statutory requirement of writing (see *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221, extracted at [10.20]);
   (b) void because one of the parties lacks contractual capacity (see Mitchell, Mitchell and Watterson, *Goff and Jones' Law of Unjust Enrichment* (9th ed, 2016), Ch 24);
   (c) void for uncertainty or incompleteness in the contract terms (see *Brenner v First Artists' Management Pty Ltd* [1993] 2 VR 221, extracted at [10.25]); or
   (d) unenforceable or void for illegality (see *Kiriri Cotton Co Ltd v Dewani* [1960] AC 192).
3. Benefits may be conferred under a contract that has been or is subsequently terminated for breach (see *Mann v Paterson Constructions Pty Ltd* [2019] HCA 32, extracted at [10.87]).
4. Benefits may be conferred under a contract that has been or is subsequently terminated by frustration (see *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32, extracted at [10.50] and *Codelfa Constructions Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, extracted at [15.35]).
5. Benefits may be conferred for a contractual purpose that totally fails, even though the contract itself remains valid (see *Roxborough v Rothmans of Pall Mall Australia Ltd* [2001] HCA 68; (2001) 208 CLR 516, extracted at [10.55]).

In some cases, a restitutionary claim will be available as an alternative to an action for damages for breach of contract (see *Baltic Shipping Co v Dillon* (1993) 176 CLR 344, extracted at [27.180] and *Mann v Paterson Constructions Pty Ltd* [2019] HCA 32, extracted at [10.87]). More commonly, the law of restitution will provide a remedy where no remedy in contract or claim in debt is available.

Unjust factors

[10.10] Where benefits have been conferred by one party on another, the next question is: when are they recoverable under the law of restitution? In other words, when does the law regard an enrichment as unjust? The answer depends on whether the benefit consists of money, goods or services. We will focus in this chapter on money and services. Where one

party has paid a sum of money to another, the amount paid may be recovered in the following circumstances:

1. Money can be recovered where it has been paid under a mistake of fact or law, in circumstances where the mistake can be regarded as the cause of the payment (see *David Securities Pty Ltd v Commonwealth Bank of Australia Ltd*, extracted at [10.30]).
2. Money can be recovered where it has been paid in return for a consideration that has totally failed (see *Roxborough v Rothmans of Pall Mall Australia Ltd*, extracted at [10.55], *Baltic Shipping Co v Dillon* (1993) 176 CLR 344, extracted at [27.180]; *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32, extracted at [10.50]).
3. Money can be recovered where it was paid under compulsion or duress (see *TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd* (1956) 56 SR (NSW) 323, extracted at [10.90]).

When one party has performed services for another, reasonable remuneration can be recovered where there is no enforceable contract for the performance of the services and the work was requested (*Lumbers v W Cook Builders Pty Ltd (in liq)* [2008] HCA 27; (2008) 232 CLR 635, extracted at [10.27]), and perhaps also where it the work was freely accepted (*Brenner v First Artists Management Pty Ltd* [1993] 2 VR 221, extracted at [10.25]). The status of the free acceptance principle applied in the *Brenner case* has been put in doubt by the judgment of Gummow, Hayne, Crennan and Kiefel JJ in the *Lumbers case*. It is now accepted that, at least in some circumstances, restitution is available with respect to services which have been provided for a consideration that has totally failed: *Mann v Paterson Constructions Pty Ltd* [2019] HCA 32, extracted at [10.87].

Defences

[10.15] Four defences to restitutionary claims are dealt with in the cases extracted in this book:

1. The court may refuse to grant relief if the claim arises out of an illegal transaction (see *Equuscorp Pty Ltd v Haxton* [2012] HCA 7; (2012) 246 CLR 498, extracted at [42.60]).
2. Where a plaintiff seeks to recover money paid under a mistake, the claim may be resisted on the basis that the plaintiff received good consideration for the payment (see *David Securities Pty Ltd v Commonwealth Bank of Australia Ltd*, extracted at [10.40] and *Australian Financial Services and Leasing Pty Ltd v Hills Industries Ltd* [2014] HCA 14; (2014) 253 CLR 560, extracted at [10.47]).
3. Where a plaintiff seeks to recover money paid under a mistake, the claim may be resisted on the basis that the defendant changed his or her position on the faith of receipt of the payment (see *David Securities Pty Ltd v Commonwealth Bank of Australia Ltd*, extracted at [10.40]). This defence was successfully relied upon in *Ovidio Carrideo Nominees Pty Ltd v The Dog Depot Pty Ltd* [2006] VSCA 6, where the plaintiff paid rent under a mistake of law but received good consideration for the payment in the form of exclusive possession and use of the demised premises.
4. Where a plaintiff seeks to recover money paid under a mistake, it is a defence that the payment was made in voluntary settlement of an honest claim (see *David Securities Pty Ltd v Commonwealth Bank of Australia Ltd*, extracted at [10.40]). The defence is

limited to situations in which the payer has made a conscious decision to pay irrespective of whether he or she is liable to pay or not (see *Hookway v Racing Victoria Ltd* [2005] VSCA 310; (2005) 13 VR 444).

REQUEST OR FREE ACCEPTANCE

Pavey & Matthews v Paul

[10.20] *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221 (High Court of Australia) – Appeal from the New South Wales Court of Appeal.

[FACTS: In the course of a series of conversations, the *appellant* agreed to do certain building work for the *respondent* on the basis that the respondent would pay the appellant "a reasonable remuneration for that work, calculated by reference to prevailing rates of payment in the building industry". Section 45 of the *Builders Licensing Act 1971* (NSW) provided that such a contract was unenforceable by the builder. The appellant completed the work. The respondent paid approximately half of the amount claimed. The appellant successfully claimed the balance in an action for a quantum meruit ("the amount earned") on the basis of indebitatus assumpsit, a form of action founded on an implied promise to pay a "debt". Such a promise was traditionally "implied" by law as a means of providing a basis for suing where work had been performed and accepted. The Court of Appeal overturned the trial judge's decision on the basis that an action in indebitatus assumpsit was an action to enforce the contract and was therefore precluded by s 45.]

MASON and WILSON JJ: The important issue in this appeal is whether a builder may bring an action in indebitatus assumpsit for the value of work done and materials supplied under an oral building contract, notwithstanding the provisions of s 45 of the *Builders Licensing Act 1971* (NSW) (the Act). That section provides:

> A contract (in this section referred to as a "building contract") under which the holder of a licence undertakes to carry out, by himself or by others, any building work or to vary any building work or the manner of carrying out any building work, specified in a building contract is not enforceable against the other party to the contract unless the contract is in writing signed by each of the parties or his agent in that behalf and sufficiently describes the building work the subject of the contract.

The appellant, which holds a builders' licence under the Act, sued the respondent in the Supreme Court of New South Wales for $26 945.50 being an amount claimed to be due and payable under a [225] quantum meruit. The appellant calculated this amount as the sum payable, after alleging that the amount of $62 945.50 "represents a reasonable sum for the work done and materials provided" and giving credit for a payment of $36 000. The respondent, after putting in issue some allegations of fact in the appellant's statement of claim and denying the reasonableness of the charges, pleaded that the contract was a building contract and as such was unenforceable by reason of s 45.

[Their Honours referred to the proceedings in the courts below, in which Clarke J found in favour of the builder, and the Court of Appeal allowed an appeal, and continued:]

[226] As a matter of ordinary legal usage the words "enforceable" and "unenforceable" may refer either to the judicial and curial remedies available for the enforcement of a contract or to all the remedies available for the enforcement of a contract, including such remedies as the contract itself may provide. Section 4 of the *Statute of Frauds 1677* (UK) *(Statute of Frauds)* and its successor s 128 of the *Instruments Act 1928* (Vic), which was considered in *Turner v Bladin* (1951) 82 CLR 463, provided for unenforceability of the first kind, whereas s 9 of the *Money Lenders Act 1912* (WA), which was considered in *Mayfair Trading Co Pty Ltd v Dreyer* (1958) 101 CLR 428, esp at 448–9, provided for unenforceability of the second kind.

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The language of s 4 of the *Statute of Frauds* and of its successors, which specifically provided that no action should be brought on a contract or agreement unless it complied with the prescribed requirements, naturally attracted an interpretation that excluded enforcement by judicial and curial remedies. The words "enforceable" and "unenforceable" did not appear in the relevant statutory provisions. Nevertheless, as a matter of history and tradition the effect of the provisions has always been said to make a non-conforming contract or agreement unenforceable in the sense already discussed. On the other hand, where a statutory provision provides that a security or a contract shall be unenforceable, it is natural, in the absence of some restraining context, to interpret the provision as giving rise to unenforceability in the wider sense mentioned above. So, in *Mayfair Trading* the court concluded that the injunction in s 9, which provided that if prescribed formalities were not observed no security should be "enforceable", rendered the mortgagee's power of sale unenforceable.

The provisions of s 45 of the Act are apt to provide for unenforceability in the wider sense; they are different from the traditional *Statute of Frauds* formula. They should therefore be read [227] as entailing unenforceability of the contract, not only by means of legal proceedings, but also by means of any other remedy.

To say this is not to exclude the possibility that, in the context of the Act, the statutory concept of unenforceability extends to indirect, as well as direct, enforcement of the contract. The question then is whether the appellant's action on a quantum meruit amounts to a direct or an indirect enforcement of the oral contract.

Deane J, whose reasons for judgment we have had the advantage of reading, has concluded that an action on a quantum meruit, such as that brought by the appellant, rests, not on implied contract, but on a claim to restitution or one based on unjust enrichment, arising from the respondent's acceptance of the benefits accruing to the respondent from the appellant's performance of the unenforceable oral contract. This conclusion does not accord with the acceptance by Williams, Fullagar and Kitto JJ in *Turner v Bladin* (at 474) of the views expressed by Lord Denning in his articles in (1925) 41 *Law Quarterly Review* 79, and (1939) 55 *Law Quarterly Review* 54, basing such a claim in implied contract. These views were a natural reflection of prevailing legal thinking as it had developed to that time. The members of this court were then unaware that his Lordship had, in his judgment in *James v Thomas H Kent & Co Ltd* [1951] 1 KB 551, as reported in the authorised reports, discarded his earlier views in favour of the restitution or unjust enrichment theory. Since then the shortcomings of the implied contract theory have been rigorously exposed (see Goff and Jones, *The Law of Restitution* (2nd ed, (1978), pp 5–11)) and the virtues of an approach based on restitution and unjust enrichment, initially advocated by Lord Mansfield and later by Fuller and Perdue (see "The Reliance Interest in Contract Damages" (1936–37) 46 *Yale Law Journal* 52 at 373, esp at 387), widely appreciated: Goff and Jones, op cit, p 15 et seq; and see *Deglman v Guaranty Trust* [1954] 3 DLR 785 at 794–5. We are therefore now justified in recognising, as Deane J has done, that the true foundation of the right to recover on a quantum meruit does not depend on the existence of an implied contract.

[10.21] Once the true basis of the action on a quantum meruit is established, namely execution of work for which the unenforceable contract provided, and its acceptance by the defendant, it is difficult to regard the action as one by which the plaintiff seeks to enforce the oral contract. True it is that proof of the oral contract may be an indispensable element in the plaintiff's success but that is in order to show that (a) the benefits were not intended as a gift, and (b) that the [228] defendant has not rendered the promised exchange value: Fuller and Perdue, op cit, p 387, n 125. The purpose of proving the contract is not to enforce it but to make out another cause of action having a different foundation in law.

If the effect of bringing an action on a quantum meruit was simply to enforce the oral contract in some circumstances only, though not in all the circumstances in which an action on the contract would succeed, it might be persuasively contended that the action on a quantum meruit was an indirect means of enforcing the oral contract. So, if all the plaintiff had to prove was that he had fully executed the contract on his part and that he had not been paid the contract price, there would be some force in the suggestion that the proceeding amounted to an indirect enforcement of the

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contractual cause of action. However, when success in a quantum meruit depends, not only on the plaintiff proving that he did the work, but also on the defendant's acceptance of the work without paying the agreed remuneration it is evident that the court is enforcing against the defendant an obligation that differs in character from the contractual obligation had it been enforceable.

In the present case the New South Wales Court of Appeal attributed a broader operation to s 45 by invoking the usual meaning of the expression "to enforce", which is "to compel observance of": see *R v Bates* [1982] 2 NSWLR 894 at 895. The force of this approach to the problem is not to be underestimated because, as we have seen, the effect of the action on a quantum meruit is to enforce the plaintiff's claim in some circumstances in which an action on the contract would succeed, proof of the contract being an element in the quasi-contractual claim. However, it seems to us that in the context of a provision such as s 45 with its injunction that the contract shall not be "enforceable", it is more appropriate to look to the more precise legal meanings that have been assigned to the term in comparable situations where a contract or a security is expressed to be unenforceable.

This is not a case in which other provisions of the Act throw textual light on what is meant by the word. It is therefore a matter of determining whether any assistance is to be gained from an examination of the policy and purpose of the statute. On one view the purpose of s 45 is to protect the building owner against spurious claims by a builder by preventing the enforcement by him of non-conforming contracts. This in substance was the view taken by the Court of Appeal in this case and in *Schwarstein v Watson*. [229] That purpose includes the protection of the building owner against a claim by a builder on a written contract that fails to describe the building work sufficiently, even in a case where the builder has fully executed the contract on his part. But it would be going a very long way indeed to assert that the statutory protection extends to a case where the building owner requests and accepts the building work and declines to pay for it on the ground that the contract fails to comply with the statutory requirements. True it is that the informal contract, though not enforceable by the builder, is enforceable against him. But it is not to be supposed that it is enforceable against him on the footing that the building owner is under no liability to pay for building work upon which he insists and the performance of which he accepts. The consequences of the respondent's interpretation are so draconian that it is difficult to suppose that they were intended. An interpretation that serves the statutory purpose yet avoids a harsh and unjust operation is to be preferred.

And there is another view which may be taken of the statutory purpose which is more favourable to this interpretation. In *Gino D'Alessandro Constructions Pty Ltd v Powis* (unreported, Supreme Court of Queensland (Full Court), 26 September 1986), McPherson J pointed out that the function of s 75 of the *Builders' Registration and Home-Owners' Protection Act 1979* (Qld), a provision substantially similar to s 45 of the Act, was "to ensure, so far as possible, that a degree of precision is introduced into house building contracts, so that it can be readily determined what is the work to be done and whether loss or damage has been suffered … so as to attract the benefit of the insurance afforded by s 69" of the Queensland Act. Although there are differences between the Queensland and New South Wales statutes, and their respective schemes of compulsory insurance for the benefit of home owners, s 45 may nevertheless be seen as performing a function similar to that undertaken by s 75 in the Queensland Act. On this view of the purpose and function of s 45, a view which in our opinion has much to commend it, we would not be justified in ascribing to the section the far-reaching consequences urged by the respondent.

Unlike the Court of Appeal we do not see any compelling analogy between s 45 of the Act and the money-lending legislation considered by this court in *Mayfair Trading* and s 22 of the *Money-lenders and Infants Loans Act 1941* (NSW) considered by Walsh J in *Deposit & Investment Co v Kaye* (1962) 63 SR (NSW) 453. The relevant provisions in those cases explicitly rendered unenforceable contracts [230] executed by the money lender. The statutes were directed at making unenforceable an obligation to repay money already lent and a security already given in respect of such an obligation. It was not possible to interpret these provisions so that they left on foot any quasi-contractual causes of

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action on the part of the lender. Request and receipt by the borrower of the money lent were integral elements in a situation in which the contract and all securities were expressed to be unenforceable. An additional feature of the money-lending cases is that the legislation was designed to protect borrowers by imposing onerous obligations on money lenders to comply with the statutory requirements. The need to protect borrowers in this way was the outcome of oppressive conduct on the part of money lenders. Section 45, seen in its setting and in conjunction with the insurance scheme established by the Act, stands on a different footing.

In the result we would allow the appeal, set aside the order of the Court of Appeal and restore the order of Clarke J.

[10.22] DEANE J [After referring to various English and Australian authorities, his Honour said]: [250] The basic propositions to be drawn from the above and other authorities were identified by Jordan CJ in *Horton v Jones (No 1)* (1934) 34 SR (NSW) 359 at 367-8 in a passage which was subsequently quoted with approval by Williams J in this court: see *Phillips v Ellinson Bros Pty Ltd* (1941) 65 CLR 221 at 246. I take the liberty of stating those propositions, with which I respectfully agree, in a different order and in varied words. Omitting all but one of the references cited by Jordan CJ, they are:

1. The "mere fact that the consideration is executed is not sufficient" to make the *Statute of Frauds* inapplicable.
2. "If, however, a person does act for the benefit of another in the performance of a contract [upon which an action cannot be brought by reason of the *Statute of Frauds*], and the other so accepts the benefits of those acts, or otherwise behaves in relation to them, that, in the absence of the … contract, the former could maintain an action … upon the common money counts, he may sue in indebtitatus to obtain reasonable remuneration for the executed consideration: … (1925) 41 *Law Quarterly Review* 79."
3. "The existence of the unenforceable contract prevents a new contract, in respect of which special assumpsit could be maintained, from being implied from the acts performed …; and the unenforceable contract may be referred to as evidence, but as evidence only, on the question of amount …"
4. The appropriate action to obtain such reasonable remuneration is "an action of debt" … "In such a case the action is in indebitatus only."

It is clear from the above propositions that the obligation to pay "reasonable remuneration for the executed consideration" was seen by Jordan CJ as arising independently of any genuine agreement or promise upon which a special count could be framed. The "existence of the unenforceable contract" prevented any such genuine agreement from being implied. The reference to the "unenforceable contract" being relevant "as evidence, but as evidence only, on the question of amount" emphasised the perception that the obligation to pay reasonable remuneration was quite different from liability to make the payments under the "unenforceable contract". Plainly enough, his Honour saw that obligation as a liability in debt arising by operation of law upon the circumstances: the "obligation is imposed by law, and does not depend on an inference of an implied [251] promise": *Horton v Jones (No 2)* (1939) 39 SR (NSW) 305 at 320 per Jordan CJ, Halse Rogers and Owen JJ …

[255] (T)he basis of the obligation to make payment for an executed consideration given and received under an unenforceable contract should now be accepted as lying in restitution or unjust enrichment. Indeed, so much was recognised by Prof Ames himself: see Ames, *Lectures on Legal History* (1913), pp 162–6 and *Sinclair v Brougham* [1914] AC 398 at 417 per Viscount Haldane LC In such a case, the underlying obligation of debt for the work done, goods supplied, or services rendered does not arise from a genuine agreement at all. It is an obligation or debt imposed by operation of law which "arises from the defendant having taken the benefit of the work done, goods supplied, or services rendered …" (*Phillips v Ellinson Bros Pty Ltd* at 235 per Starke J) and which can be enforced "*as if* it had a contractual origin" (italics added), *In Re Rhodes* (1890) 44 Ch D 94 at 107 per Lindley LJ and see, among many other relevant works and cases, Lord Wright, "Sinclair v Brougham" (1938) 6

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Cambridge Law Journal 305 at pp 317ff; Jackson, *The History of Quasi-Contract in English Law* (1936); *Pulbrook v Lawes* at 290 per Blackburn J and 290–1 per Lush J; *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 at 61–2; *Deglman v Guaranty Trust* [1954] 3 DLR 785 at 788, 794–5; the judgment of Lord Denning himself (then Denning LJ) in *James v Thomas H Kent & Co Ltd* [1951] 1 KB 551 at 556; and the judgment of the Privy Council, delivered by Lord Denning, in *Kiriri Cotton Co Ltd v Dewani* [1960] AC 192 at 204–5.

It is not necessary to pursue here the question whether, now that the common law is released from the controls of the old forms of action, there is a continuing need for or utility in the traditional approach that any claim which would in previous times have been asserted by a common indebitatus count must be seen as lying either in contract or quasi-contract: see, for example, the discussion of the subject by Lord Wright, op cit, and by Holdsworth, "Unjustifiable Enrichment" (1939) 55 *Law Quarterly Review* 37. It suffices to say that, even accepting that traditional approach, it is clear that the old common indebitatus count could be utilised to accommodate what should be seen as two distinct categories of claim: one to recover a debt arising under a genuine contract, whether express or implied; the other to recover a debt owing in circumstances where the law itself imposed or imputed an obligation or promise to make compensation for a benefit accepted. In the first [256] category of case, the action was brought upon the genuine agreement regardless of whether it took the form of a special or a common count. It follows from what has been said above that the cases in which a claimant has been held entitled to recover in respect of an executed consideration under an agreement upon which the *Statute of Frauds* precluded the bringing of an action should be seen as falling within the second and not the first category. In that second category of case, the tendency of common lawyers to speak in terms of implied contract rather than in terms of an obligation imposed by law (see, for example, *Scott v Pattison* [1923] 2 KB 723 at 727-8 per Salter J) should be recognised as but a reflection of the influence of discarded fictions, buried forms of action and the conventional conviction that, if a common law claim could not property be framed in tort, it must necessarily be dressed in the language of contract. That tendency should not be allowed to conceal the fact that, in that category of case, the action was not based upon a genuine agreement at all. Indeed, if there was a valid and enforceable agreement governing the claimant's right to compensation, there would be neither occasion nor legal justification for the law to superimpose or impute an obligation or promise to pay a reasonable remuneration. The quasi-contractual obligation to pay fair and just compensation for a benefit which has been accepted will only arise in a case where there is no applicable genuine agreement or where such an agreement is frustrated, avoided or unenforceable. In such a case, it is the very fact that there is no genuine agreement or that the genuine agreement is frustrated, avoided or unenforceable that provides the occasion for (and part of the circumstances giving rise to) the imposition by the law of the obligation to make restitution.

To identify the basis of such actions as restitution and not genuine agreement is not to assert a judicial discretion to do whatever idiosyncratic notions of what is fair and just might dictate. The circumstances in which the common law imposes an enforceable obligation to pay compensation for a benefit accepted under an unenforceable agreement have been explored in the reported cases and in learned writings and are unlikely to be greatly affected by the perception that the basis of such an obligation, when the common law imposes it, is preferably seen as lying in restitution rather than in the implication of a genuine agreement where in fact the unenforceable agreement left no room for one. That is not to deny the importance of the concept of unjust enrichment in the law of this country. It constitutes a unifying legal concept which explains [257] why the law recognises, in a variety of distinct categories of case, an obligation on the part of a defendant to make fair and just restitution for a benefit derived at the expense of a plaintiff and which assists in the determination, by the ordinary processes of legal reasoning, of the question whether the law should, in justice, recognise such an obligation in a new or developing category of case: see *Muschinski v Dodds* (1985) 60 ALJR 52 at 67; Goff & Jones, op cit, pp 11ff. In a category of case where the law recognises an obligation to pay a reasonable remuneration or compensation for a benefit actually or constructively accepted, the general concept of restitution or unjust enrichment is, as is pointed out subsequently in this judgment,

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also relevant, in a more direct sense, to the identification of the proper basis upon which the quantum of remuneration or compensation should be ascertained in that particular category of case.

The fact that the action which can be brought on a common indebitatus count consistently with the *Statute of Frauds* is founded on an obligation arising independently of the unenforceable contract does not mean that the existence or terms of that contract are necessarily irrelevant. In such an action, it will ordinarily be permissible for the plaintiff to refer to the unenforceable contract as evidence, but as evidence only, on the question whether what was done was done gratuitously. In many cases, such as where the claim is for money lent or paid, the obligation to make restitution will plainly involve the obligation to pay the precise amount advanced or paid. In those cases where a claim for a reasonable remuneration or price is involved, the unenforceable agreement may, as Jordan CJ pointed out in *Horton v Jones (No 1)* (see above), be referred to as evidence, but again as evidence only, on the question of the appropriate amount of compensation. If the unenforceable contract has not been rescinded by the plaintiff or otherwise terminated, the defendant will be free to rely on it as a defence to the claim for compensation in a case where he is ready and willing to perform his obligations under it: see *Thomas v Brown* (1876) 1 QBD 714. The defendant will also be entitled to rely on the unenforceable contract, if it has been executed but not rescinded, to limit the amount recoverable by the plaintiff to the contractual amount in a case where that amount is less than what would constitute fair and reasonable remuneration …

[10.23] [261] Finally, it was submitted on behalf of Mrs Paul that to allow recovery by the builder of what is fair and reasonable compensation for work done under a contract which is rendered unenforceable against her by s 45 of the Act would be contrary to the legislative intent to be discerned in the words of the section when read in the context of the Act. In support of that submission, reliance was placed on various decisions on the effect of provisions in money-lending legislation. I do not agree with this submission.

The decisions on the money-lending legislation do not seem to me to be really in point. In the legislation involved in those cases, it was possible to argue, both by reference to the different words used and the quite different history of money-lending legislation, that it was the plain legislative intent that the moneylender should be precluded from recovering any compensation for the loan which had been made and received by the borrower. The relevant provisions went well beyond a mere statement that the agreement was to be unenforceable by the lender and were plainly directed towards imposing unenforceability in the ordinary case at a stage after the consideration had been fully executed by the lender, that is to say, after the money had been lent without an adequate memorandum in writing of the terms of the loan. Thus the subsection of the Nigerian *Moneylenders Ordinance* (s 19(4)) which was before the [262] Privy Council in *Kasumu v Baba-Egbe* [1956] AC 539 expressly provided that a moneylender should not be entitled to enforce "any" claim "in respect of" any transaction in relation to which he had made default in complying with the requirement that he should enter certain particulars in a book. Section 9(1) of the *Money Lenders Act 1912* (WA), which was before this Court in *Mayfair Trading Co Pty Ltd v Dreyer* (1958) 101 CLR 428, provided that no contract for the "repayment by a borrower of money lent to him … or for the payment by him of interest on money so lent, and no security given by the borrower … in respect of any such contract" should be enforceable in the absence of the prescribed note or memorandum. In *Deposit & Investment Co Ltd v Kaye* (1962) 63 SR (NSW) 453 at 460, Walsh J expressly drew attention to the fact that the form of the relevant provision did not simply say that "the contract of a loan is not to be enforceable" but provided that "the borrower's obligations and the security for the performance of them shall not be enforceable."

There is no apparent reason in justice why a builder who is precluded from enforcing an agreement should also be deprived of the ordinary common law right to bring proceedings on a common indebitatus count to recover fair and reasonable remuneration for work which he has actually done and which has been accepted by the building owner: compare *Johnsons Tyne Foundry Pty Ltd v Maffra Corp* (1948) 77 CLR 544 at 565. Nor, upon a consideration of the words of s 45 in their

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context in the Act, am I able to identify any legislative intent to deprive the builder of that ordinary common law right. The section does not make an agreement to which it applies illegal or void. Nor do its words disclose any legislative intent to penalise the builder beyond making the agreement itself unenforceable by him against the other party. It may be that the bringing of an action as on a common indebitatus count would conflict with the apparent legislative policy underlying s 45 if the claimant in such an action were entitled as of right to recover the amount which the building owner had agreed to pay under the unenforceable agreement. I am, however, unpersuaded that the bringing by a builder of an action on the common indebitatus count in which he can recover no more than what is fair and reasonable in the circumstances as compensation for the benefit of the work which he has actually done and which has been accepted by the building owner conflicts with any discernible legislative policy. Plainly enough, the survival of the ordinary common law right of the builder to recover, in an action [263] founded on restitution or unjust enrichment, reasonable remuneration for work done and accepted under a contract which is unenforceable by him does not frustrate the purpose of the section to provide protection for a building owner. The building owner remains entitled to enforce the contract. He cannot, however, be forced either to comply with its terms or to permit the builder to carry it to completion. All that he can be required to do is to pay reasonable compensation for work done of which he has received the benefit and for which in justice he is obliged to make such a payment by way of restitution. In relation to such work, he can rely on the contract, if it has not been rescinded, as to the amount of remuneration and the terms of payment. If the agreed remuneration exceeds what is reasonable in the circumstances, he can rely on the unenforceability of the contract with the result that he is liable to pay no more than what is fair and reasonable.

The tendency in some past cases to see the rationale of the right to recover remuneration for a benefit provided and accepted under an unenforceable contract as contract or promise rather than restitution has tended to distract attention from the importance of identifying the basis upon which the quantum of the amount recoverable should be ascertained. What the concept of monetary restitution involves is the payment of an amount which constitutes, in all the relevant circumstances, fair and just compensation for the benefit or "enrichment" actually or constructively accepted. Ordinarily, that will correspond to the fair value of the benefit provided (for example, remuneration calculated at a reasonable rate for work actually done or the fair market value of materials supplied). In some categories of case, however, it would be to affront rather than satisfy the requirements of good conscience and justice which inspire the concept or principle of restitution or unjust enrichment to determine what constitutes fair and just [264] compensation for a benefit accepted by reference only to what would represent a fair remuneration for the work involved or a fair market value of materials supplied. One such category of case is that in which unsolicited but subsequently accepted work is done in improving property in circumstances where remuneration for the unsolicited work calculated at what was a reasonable rate would far exceed the enhanced value of the property. More relevant for present purposes is the special category of case where restitution is sought by one party for work which he has executed under a contract which has become unenforceable by reason of his failure to comply with the requirements of a statutory provision which was enacted to protect the other party. In that category of case, it would be contrary to the general notions of restitution or unjust enrichment if what constituted fair and just compensation for the benefit accepted by the other party were to be ascertained without regard to any identifiable real detriment sustained by that other party by reason of the failure of the first party to ensure that the requirements of the statutory provision were satisfied. Thus, if it is established on the hearing of the present case that Mrs Paul has sustained an identifiable real detriment by reason of the failure of the builder to ensure that there was a written memorandum of the oral contract which satisfied the requirements of s 45 of the Act, that would be an important factor in determining what constituted fair and just restitution in the circumstances of the case for the work done and materials supplied of which she has accepted the benefit. The mere fact that the reasonable remuneration for the building work done at Mrs Paul's request exceeded Mrs Paul's expectations would not, however, of itself constitute any such identifiable real detriment since it is not necessary for the purposes of s 45 of the Act that a written contract contain either an

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agreed price for the building work or an estimate of what the cost of it to the building owner will ultimately be.

[10.24] BRENNAN J (dissenting): [238] Where work is done by a plaintiff under a contract which expressly or impliedly provides for the plaintiff's remuneration, there is no ground in restitution or unjust enrichment for imposing an obligation to pay remuneration different from the agreed remuneration. If it were possible to impose a quasi-contractual obligation to pay reasonable remuneration when there is a subsisting unwritten contract which falls within the *Statute of Frauds*, the imposed obligation would be either inconsistent with the contract or it would duplicate the contractual obligation. An inability to sue on a contract provides no ground for imposing a quasi-contractual obligation inconsistent with the contractual obligation to pay remuneration, and the effect of the Statute on the contractual obligation cannot be circumvented by substituting a corresponding quasi-contractual obligation. A subsisting contract is the source and charter of the rights and obligations of the parties, and the law cannot impose other rights and obligations either to vary the contractual provisions or to negative the effect which the *Statute of Frauds* has upon them …

[241] There is a difference in language and in purpose between s 4 of the *Statute of Frauds* and s 45 of the *Builders Licensing Act*. Section 4 of the *Statute of Frauds* prescribes that "no action shall be brought whereby to charge any [person] upon" an agreement not in writing being an agreement of a kind therein specified. Section 45 of the *Builders Licensing Act* provides that a "building contract" as therein prescribed which is not in writing "is not enforceable" by the holder of a licence "against the other party to the contract". A general denial of enforceability against one party is a more extensive sterilisation of a contract than a denial of a right to enforce it by an action on the contract brought against that party. To make a contract unenforceable against a party is to give him a wider immunity than is given by preventing an action against him on the contract. A contract which is unenforceable cannot give rise to any legal remedy, whether curial or extra-curial: *Mayfair Trading Co Pty Ltd v Dreyer* (1958) 101 CLR 428, pp 448–9 …

[242] Section 45 was passed to protect the building owner. I respectfully agree with the view of Samuels JA in *Schwarstein v Watson* (1985) 3 NSWLR 134, pp 140–1 (which his Honour adopted in the present case), that s 45 is designed "to ensure that a written record was made of the work to be done and the rate to be charged; it being notorious that disputes about both matters not infrequently arose requiring determination at tedious length". Or, as McHugh JA said in this case (1985) 3 NSWLR 114, at 132:

> Disputes between builders and home owners as to what work was agreed upon and what was to be its cost have plagued the building industry for many years. Section 45 represents a legislative attempt to overcome this problem by forcing licensed builders to obtain written contracts for building work before they are enforceable by builders. We must give effect to the legislative policy embodied in s 45, however harsh it may seem in an individual case.

… [243] Apart from legal theory, the submission that a licence holder can sue for remuneration due under his contract with the building owner when s 45 declares that the contract is not enforceable against the building owner seems contrary to the plain words of the Statute. If s 45 were held not to bar such an action to recover a debt due under the contract the section would have had little, if any, practical effect on the litigation of building contracts where the holder of the licence had discharged his obligations to completion (or perhaps to substantial completion). If it were necessary to prove the discharge [244] of the licence holder's obligations under the unwritten contract in order to establish an enforceable debt recoverable by the plaintiff, litigation arising out of unwritten building contracts would focus on the work which had been agreed upon and the remuneration promised. The effect of s 45 would be to exacerbate the very problem, identified by Samuels and McHugh JJA, which s 45 was intended to overcome. In my opinion, s 45 precludes the arising of an enforceable debt.

… [244] The contractual promise to pay is clearly unenforceable and there is no room, while the unenforceable contract is subsisting, for a quasi-contractual claim.

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DAWSON J: [267] Because it is possible to identify the cause of action in this case by reference to a common count based upon a promise implied in fact and not upon a constructive obligation or quasi-contract, it is unnecessary to examine the scope of unjust enrichment as a cause of action and the part played by indebitatus assumpsit in assisting or arresting its development in the common law: see Goff and Jones, *Law of Restitution*, 2nd ed (1978), pp 8-9.

[269] … I cannot, with respect, agree that an action upon a quantum meruit is an action upon an implied contract or, at all events, an implied contract which covers the same ground as an existing contract. Whether or not restitution, released from its abode in indebitatus assumpsit, would also support a claim in those circumstances is something which it was unnecessary to consider in order to decide that case as it is unnecessary in this case….

It is for these reasons also that I have reached the conclusion that, were the plaintiff to succeed in its action in this case, the result would be, not the enforcement, directly or indirectly, of the contract, but the enforcement of an obligation which, whilst it arose from the performance of the contract, was separate and distinct from it. In reaching this conclusion I feel no need to regard the action in this case as one in quasi-contract nor do I think it should be so regarded. Otherwise, I am in agreement with the view of Mason and Wilson JJ that s 45 of the *Builders Licensing Act* ought not to be construed as having any application and with the reasons which they give for that view.

Appeal allowed.

Brenner v First Artists' Management

[10.25] *Brenner v First Artists' Management Pty Ltd* [1993] 2 VR 221 (Supreme Court of Victoria).

[FACTS: The plaintiffs (Fenner and Brenner) were engaged to provide management services to Daryl Braithwaite, a former pop star who was seeking to revive his career. The arrangements as to the plaintiffs' responsibilities and their entitlement to commission were too uncertain to give rise to any enforceable contracts. For some months, the plaintiffs provided services, which contributed to the production of a recording and the making of arrangements for Braithwaite's comeback. The relationship deteriorated and the management arrangements were terminated by the defendant, but the album ("Edge") was subsequently released and Braithwaite's comeback was successful. Fenner and Brenner sought remuneration from Braithwaite on the basis of quantum meruit.]

BYRNE J: [257] The primary case before me is put by the plaintiffs on the basis that there was no contract between Fenner or Brenner on the one hand and Braithwaite on the other.

In such a case, the gist of the claim is that the defendant has actually or constructively accepted the benefit of the plaintiffs' services in circumstances where it would be unjust for that party to do so without making restitution to the plaintiffs: *Pavey's Case*, at 227, (per Mason and Wilson JJ), and at 256 to 257, (per Deane J). The circumstances in which the law considers it unjust to accept the benefit without payment are to be discerned from the principles to be extracted from the decided cases. For present purposes these indicate that an obligation will not arise where there is a subsisting enforceable contract between the parties for the performance of the services in question. The obligation will not arise where the services were provided "officiously" (Goff and Jones, *Law of Restitution*, 3rd ed, (1986), at 42ff) or where they were volunteered (Birks, *An Introduction to the Law of Restitution*, (1985), at 100 ff). This means that the plaintiffs in the present case must show that they performed the services in circumstances where the law requires that payment be made.

Counsel for the defendant fastened attention on the essential requirement of benefit. He submitted in respect of many of the services for which payment was sought that they did not confer a benefit upon the defendant. Where a manager attends a meeting with a view to obtaining work for an artist

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and no work results, he said, the plaintiffs do not demonstrate a benefit. I should state at the outset that I do not accept the two unstated premises in this submission. First, that the failure of the manager to prove that any particular service produced an engagement or other profit or, indeed, some other economic benefit for the artist, means that no benefit was conferred for the purposes of a claim in restitution. It may be that the benefit is something other than a direct consequence of any particular service, as for example the promotion of the artist or advice given to him. Second, that "benefit" for the purpose of the rule of restitution for services must be an economic benefit: the statements of principle in *Pavey's Case* are not so limited.

The defendant's submission, however, exposes a difficulty which arises in different ways in this area of law. Where a person pays money to another it is not difficult to see that a benefit has thereby accrued to the recipient. Services present greater difficulty. If the law of restitution is available to oblige the recipient of the benefit of services to make restitution, it must acknowledge that such benefit may take many forms. It seems to me unlikely that the law would introduce into this area the difficult and somewhat arbitrary distinction which has been drawn in the law of negligence between pure economic loss and physical loss. To take an extreme case, it may be of benefit to an artist simply that it be known that a particular person has accepted the role of his or her manager or that the manager by accepting the artist as a client is then precluded from acting for a competitor of the artist. I have referred to non-economic benefits which may be requested, conferred and accepted. I would need clear authority to deny a claimant the right to restitution for such services when all the other requirements of the cause of action are established. If a landowner requests an architect to [258] prepare a design for a building in circumstances where there is no enforceable contract and the architect undertakes the preparatory work but does not produce any design before the defendant abandons the project, it may be said that no benefit exists which is capable of acceptance. *Planche v Colburn* (1831) 8 Bing 14; 131 ER 305 is authority against such a conclusion. In my opinion, "benefit" in this context must be seen from the perspective of the recipient who is, after all, the person to be charged. It may be that for some idiosyncratic reason a defendant seeks the performance of work which another would see as without benefit or, indeed, as a positive disbenefit. Examples of this are given by Goff J in *BP Exploration Co (Libya) Ltd v Hunt* (No 2) [1979] 1 WLR 783, at 803. But where a person requests another to do something, it is not unreasonable for the law to conclude that the former sees some benefit in its performance, however wrong this view may be on an objective basis and for the law to act upon the perception of the recipient. His Lordship in *BP Exploration Co (Libya) Ltd v Hunt (No 2)* [1979] 1 WLR 783 also explored an ambiguity in the concept of "benefit" which may be of importance. Is the benefit to be seen in the performance of the service, or in the end product which the service may or may not produce? His Lordship was concerned in that case with the construction of the Law Reform (Frustrated Contracts) Act 1943, s 1(2), and not with a claim in restitution, but he acknowledged that the principle underlying that Act was the principle of unjust enrichment. In that case, his Lordship concluded, as a matter of construction of the statute, that "benefits" referred to the end product of the services, not the services themselves. It does not follow that "benefit" in the law of restitution must be given the same meaning. Indeed, the difficulties exposed by his Lordship from this conclusion, at 802 to 803, and the emphasis in *Pavey's Case* on the services themselves, suggest to me that the principle of restitution requires me to look there for the necessary benefit. The *BP Case* concerned a claim under a frustrated contract for remuneration for prospecting services. These services, like those of a selling broker or an artist's manager, were such that they might bear no proportion to the end product. A mineral prospector might with very little effort discover a rich resource or it may be that the result of considerable effort is no benefit at all. Can it be said in the latter case that no benefit accrues to the person requesting the services? The cases of work done in anticipation of contract are of assistance in this area. In *William Lacey (Hounslow) Ltd v Davis* [1957] 2 All ER 712, the plaintiff was led to believe that it would receive the contract to rebuild certain war damaged premises. The plaintiff carried out estimating work before the defendant sold the premises and the project was abandoned. The plaintiff succeeded on the now discredited basis that a promise to pay was implied from the request to do the work.

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Barry J was, however, prepared to infer that the defendant had derived some actual benefit from the work inasmuch as it may have produced a greater price on the sale of the premises. Be this as it may, his Lordship's decision in the *William Lacey Case*, was in my view, predicated on a wider principle: the expectation of the parties that the work would be paid for. See *Sabemo Pty Ltd v North Sydney Municipal Council* [1977] 2 NSWLR 880, at 902. Compare J Beatson, "Unjust Enrichment in the High Court of Australia" (1988) 104 LQR 13, at 16. I conclude that in a case where the services were requested and accepted, the law will not stop to enquire whether they were, on any other basis, of benefit to the party requesting and accepting them. See Goff and Jones, at 18. Indeed, where the services have been requested by the party to be charged, the main area of interest is likely to be whether the circumstances of the request are such as to give rise to a right of payment. This will involve proof that the services were not provided as a gift: *Pavey's Case*, at 227 to 228. Furthermore, it will be necessary for the plaintiff to establish, where a certain event has not occurred, that the services were not provided on the basis that they were not to be paid for unless that event came to pass. In this category will fall cases where a tenderer carries out estimating or other work in response to an invitation to tender for a contract. It is understood in such cases that, in general, the tenderer takes the risk that the tender will be unsuccessful and that, as a consequence, the work will be unrewarded. It may be, however, that, even in such a case, an obligation to pay the tenderer will arise where the contract is not entered into by reason of a change of heart on the part of the proprietor: *Sabemo's Case*; or where the work done falls outside that normally expected of tenderers: *William Lacey's Case*; or where the work performed is of particular benefit to the proprietor: *British Steel Corp v Cleveland Bridge and Engineering Co Ltd* [1984] 1 All ER 504.

…

[259] It was submitted on behalf of the defendant that the test was whether each of the parties thought at the relevant time that the work would be recompensed. I think that the court is not concerned with the actual state [260] of mind of the parties or of either of them: *Sabemo's Case*, at 900. Moreover, the enquiry must in my view be principally directed to the position of the party to be charged, for the thread running through this area of law is the injustice of the enrichment of that party. In my opinion the appropriate enquiry is whether the recipient of the services, as a reasonable person, should have realised that a person in the position of the provider of the services would expect to be paid for them and did not take a reasonable opportunity to reject those services: Jones, *Restitution in Public and Private Law*, (1991), at 108. Where the services are provided under a contract which turns out to be void or otherwise ineffective or pursuant to a request made in a normal commercial relationship with a person whose business it is to provide those services for reward, this requirement will be satisfied.

Furthermore, I find that the mere fact that Braithwaite had a manager was of benefit to him and that it was of benefit to him that that manager was Fenner and later Nathan Brenner as well. Moreover, he was thereby relieved of the worry of finding another manager. I find too, as will appear, that Fenner and Brenner provided Daryl Braithwaite and Taylor with support and advice which contributed to the production of the album "Edge" and to the ultimate success of the Braithwaite project.

In the present case where the management services provided by the plaintiffs as professional artists' managers were so provided pursuant to a request accompanied by a discussion as to the mode of payment, the imposition by the law of an obligation to make restitution for the benefit thereby accepted is consonant with the decided authorities and with the notion of justice and fairness which underlies the law relating to restitution. …

Legal principles as to quantum

[262] I turn now to the aspect of the case which I have found most difficult, the assessment of the fair and reasonable remuneration for the work of Fenner and Brenner.

…

It is convenient at the outset to set out the legal principles which I apply in making the assessment. First, my task is not to assess damages for breach of contract. The claims of the plaintiffs presuppose

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that no contract existed. Accordingly, I am not concerned to assess the sum which would compensate Fenner and Brenner for the benefits they might have received had they remained as managers of Braithwaite for the full term of the management engagement of June 1987 or that made in January 1988, even if it were possible to determine this, given the infirmities of this engagement.

Second, the fundamental yardstick is what is a fair and reasonable remuneration or compensation for the benefit accepted actually or constructively by Braithwaite. It will be recalled that in the context of liability I drew a distinction between the benefit which is presumed where a person requests another to perform services, and the end product of those services. Take the case of a selling agent who after one hour's work achieves [263] a sale which earns an enormous profit to the principal. What is in these circumstances the benefit to the principal? In my view the answer to this difficulty is suggested by Deane J in *Pavey's Case*, at 263. Where the services have been performed at the request of a defendant or under an ineffective contract, the fair value of the work of the party will ordinarily be the remuneration calculated at a reasonable rate for the work actually done, for the defendant having obtained the benefit of a plaintiff's work ought not be permitted to enjoy this work without having paid for it. The assessment, then, must have regard to what the defendant would have had to pay had the benefits been conferred under a normal commercial arrangement. The enquiry is not primarily directed to the cost to the plaintiff of performing the work since the law is not compensating that party for loss suffered.

…

Third, where the parties have agreed upon a price for certain services to be performed and those services have in fact been performed, but for some reason their agreement is ineffective or is no longer on foot, the agreed price is evidence of the value that the parties themselves put on the services performed and may be received as evidence of the appropriate remuneration, but is not determinative of it: *Pavey's Case*, at 257; *Horton v Jones* [No 1] (1934) 34 SR (NSW) 359, at 368. These cases are concerned with contracts which have been performed by the plaintiff, but there seems no reason in principle why the court should not equally have regard to the agreed price in assessing the benefit of services where they are not totally performed. …

Fourth, in many cases the appropriate method of assessing the benefit of the work is by applying an hourly rate to the time involved in performing those services. If this procedure is adopted, the court may have regard to the rate of remuneration which is commonly accepted in the industry. But in so doing it should have regard to the standing of the person performing the services, the difficulty of the task, the fact that the services required imagination and creativity which may be difficult to discern in the end product. See also *Graham and Baldwin v Taylor, Son and Davis* (1965) 109 SJ 793; *Hudson's Building and Engineering Contracts*, 10th ed, at 183 to 185.

Fifth, in the case where the services are of such kind that it is difficult or impossible to assess the number of hours involved or to itemise the precise services, the court is entitled to make a global assessment or to reduce or increase the remuneration which can be proved with some certainty in order to reflect the fair and reasonable value. See *The Commonwealth of Australia* [264] *v Amman Aviation Pty Ltd* (1991) 174 CLR 64, at 83. In such a case the court is simply performing the task of the jury, which would be directed to have regard to all the circumstances and to return a verdict in the proper sum.

Sixth, where it is customary in the industry for the services to be recompensed on a commission basis, the court may have regard to what is a reasonable commission and to apply it where appropriate: *Way v Latilla* [1937] 3 All ER 759, at 764, per Lord Atkin. This manner of valuing the services, however, provides difficulties in the case where the event giving rise to the payment of commission has not occurred, as for example where an estate agent is deprived of the right to earn commission because the property is withdrawn from sale. In such a case it cannot be appropriate to treat the benefits to the employer as being the procuring of a sale which has not occurred, nor is it appropriate to value the lost chance of the agent to make this sale, for this is to apply a rule more appropriate for the assessment of damages. But what is the sense of attempting to value the agent's fruitless services

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performed at the request of the defendant, for the market or current price of those services cannot be realistically assessed in that industry otherwise than by reference to the commission which they might have earned? The researches of counsel and of myself have not disclosed an authority on this point which is central to the assessment in the present case. Accordingly, it is necessary to turn to first principles.

The function of the task of the court is to undertake an assessment of the benefit or the enrichment which has been unjustly accepted by the defendant. The benefit may be looked at first as the benefit of certain services which the estate agent or, as here, the managers were to undertake with the intent and expectation of profit for the employer. It is necessary to bear in mind that these services were not the making of a certain telephone call or the attending at a particular meeting, though they certainly included such things. The services which were requested and which I infer were of value to the artist were the assumption of the role of manager and the performance of the various tasks which this role involved. In this context the benefit to the artist includes the expectation that these services will be performed with the prospect of profit to him and on the basis that in such event he must make payment. Indeed, it is on this assumption that the manner of assessing payment on a commission basis was agreed.

The consequence of this, it seems to me, is that it would be to affront rather than to satisfy the requirements of good justice for the law to ignore, in the case of a commission agent or manager whose services have been provided at the request of an employer in circumstances entitling the former to restitution, the commission which might have accrued had the relationship not been terminated. This is not to say that the benefit conferred by the agent or manager should be valued as equivalent to that commission, for to do this would be to ignore the fact that the employment has been prematurely terminated, and that the agent/manager has been relieved of the burden of completing the task for which he or she was engaged, and the possibility that the success which was achieved after the termination was the product of the efforts of persons other than the agent/manager. The recognition of the role of these factors, together with a predisposition in such a case to fulfil the expectation of the parties at the time of request, may require the adjustment of the commission which might otherwise have been payable in order to cater for the contribution made by the manager to the success of the artist.

[265] These approaches, which may be to a greater or less extent of assistance in a given case, are all subordinate to the basic function of the court – to assess the sum which represents a fair and reasonable value of the benefit of the services performed.

[BYRNE J assessed the value of the services on an hourly rate (which produced a total of about $35,000) and tested the reasonableness of these amounts by comparing them with the amounts that might have been earned on a commission basis (ie, as a percentage of earnings from royalties and live performances). The commission calculation produced a total for Fenner and Brenner of approximately $31,000. The plaintiffs were therefore held to be entitled to recover a sum of approximately $35,000 plus interest and costs.]

Lumbers v W Cook Builders (in liq)

[10.27] *Lumbers v W Cook Builders Pty Ltd (in liquidation)* [2008] HCA 27; (2008) 232 CLR 635 (High Court of Australia) – Appeal from the Supreme Court of South Australia.

[FACTS: W Cook & Sons Pty Ltd (Sons) orally agreed to build a house for the Lumbers. The work of the builder mostly involved employing and supervising subcontractors. It was agreed that the Lumbers would pay the costs incurred by Sons plus a supervision fee, although the amount of the fee was never determined. Following a corporate reorganisation, and without the knowledge of the Lumbers, all of the building work being done by Sons was taken over by a related company,

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W Cook Builders Pty Ltd (Builders). From then on, the work on the Lumbers' house was undertaken or paid for by Builders. The Lumbers were asked to make certain payments for the building work, which they did by way of cheques payable to Sons. These amounts were passed on to Builders. Three years after the house was completed, Builders went into liquidation. A director of Sons, Malcolm Cook, wrote to the Lumbers advising that there were no outstanding amounts owed by the Lumbers to Sons. The liquidator of Builders claimed, however, that Builders had been underpaid for the work on the Lumbers' house. The liquidator of Builders sought to recover from the Lumbers the difference between the amounts paid by the Lumbers and the total amount that they should have been paid (ie, the cost of the building works plus a reasonable fee for supervision). The trial judge found that the difference was more than $260,000. There was no adequate explanation as to why this amount was not claimed by Sons. The liquidator failed at first instance. Since the contract between the Lumbers and Sons remained in force, and was not assigned to Builders, Builders was held to have undertaken the work on the Lumbers' house as a subcontractor for Sons. The trial judge in the District Court therefore held that Builders had no rights against the Lumbers. On appeal, the Full Court of the South Australian Supreme Court held (2-1) that Builders could recover in restitution against the Lumbers. The Lumbers had incontrovertibly benefited from the work done by Builders and freely accepted that benefit, even though they did not know it was being provided by Builders. The Lumbers appealed to the High Court of Australia.]

GLEESON CJ:

The restitutionary claim

[45] In considering Builders' restitutionary claim, the contractual relations between the Lumbers and Sons, and between Sons and Builders, cannot be put to one side as an inconvenient distraction. The original structure of the litigation has been described above. The circumstances that, by reason of a failure on the part of Builders to comply with an order for security for costs, Sons has taken no active part in the litigation, and that, by reason of the absence of any evidence from Mr McAdam, what went on between Sons and Builders is obscure, do not displace the necessity of identifying the contractual position. The case was conducted and decided in the South Australian courts on the basis that, as Builders alleged, there was a contract between the Lumbers and Sons. Builders claimed that there was an assignment to it by Sons of the benefit of that contract. That claim failed. The primary judge held that the work performed by Builders was performed pursuant to a further contract which was made between Sons and Builders; a contract that was entered into without the knowledge of the Lumbers. That finding was not reversed in the Full Court, although it is not clear how the majority accommodated it to their reasoning. It was adopted by Vanstone J. The finding should be accepted. No reason has been shown to doubt that it was correct. As the trial judge pointed out, once the possibility of assignment is rejected, and in the absence of any suggestion of novation, the characterisation of the "arrangements" between Sons and Builders as a contract is appropriate. Even if the conduct of Sons in making such a contract and thereby delegating the performance of its obligations amounted to a breach of its contract with the Lumbers, the contract between the Lumbers and Sons remained in force. There was, therefore, a head contract between the Lumbers and Sons, and a subcontract between Sons and Builders.

[46] So far as appears from the evidence, Builders had, and may still have, a viable claim against Sons. The claim was not defeated on the merits or otherwise in any relevant respect rendered worthless. Builders and Sons have their own separate creditors and members. The contractual arrangements that were made effected a certain allocation of risk; and there is no occasion to disturb or interfere with that allocation. On the contrary, there is every reason to respect it. There was no mistake or misunderstanding on the part of Builders. It was accepted on both sides in argument that in the ordinary case a building subcontractor does not have a restitutionary claim against a property owner, but must look for payment to the head contractor (*Hampton v Glamorgan County Council* [1917] AC 13). That was said to be subject to exceptions (see *Restatement of the Law: Restitution and Unjust Enrichment*, 3d, Tentative Draft No 3 (2004) at §29), but the difficulty

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for Builders was to show that the case fell within any recognised exception or within general principles justifying a new exception.

[47] In *Pan Ocean Shipping Co Ltd v Creditcorp Ltd* [1994] 1 WLR 161 at 166, Lord Goff of Chieveley said:

> I am of course well aware that writers on the law of restitution have been exploring the possibility that, in exceptional circumstances, a plaintiff may have a claim in restitution when he has conferred a benefit on the defendant in the course of performing an obligation to a third party (see, eg, *Goff and Jones on the Law of Restitution*, 4th ed (1993), pp 55 et seq, and (for a particular example) *Burrows on the Law of Restitution*, (1993) pp 271-272). But, quite apart from the fact that the existence of a remedy in restitution in such circumstances must still be regarded as a matter of debate, it is always recognised that serious difficulties arise if the law seeks to expand the law of restitution to redistribute risks for which provision has been made under an applicable contract.

In some Australian jurisdictions, there has been legislation enacted to protect the interests of building subcontractors, but such protection is confined within a certain statutory framework (eg *Worker's Liens Act 1893* (SA); *Subcontractors' Charges Act 1974* (Qld)). The fact that such legislation exists should discourage, rather than encourage, attempts to extend the scope of restitutionary claims beyond the bounds set by legal principle, especially where to do so would be to cut across or disturb contractual relationships and established allocation of risk (cf *Photo Production Ltd v Securicor Transport Ltd* [1980] AC 827 at 843; *Esso Australia Resources Ltd v Federal Commissioner of Taxation* (1999) 201 CLR 49 at 62 [24]).

[49] To repeat, Builders' services were not performed at the request of the Lumbers, but pursuant to a contract between Sons and Builders. There was no acquiescence by the Lumbers in the provision of services by Builders. The Lumbers were unaware of the existence or role of Builders. As far as they were concerned, the services were being provided by Sons under the building contract. That was not provision of services for the protection of the Lumbers' property.

[50] The majority in the Full Court decided the case on the basis that Builders performed services that conferred an incontrovertible benefit on the Lumbers, and that it would be unconscionable for the Lumbers to keep the benefit of those services without paying a reasonable sum for them. In their application to the facts of the present case, each of the two elements in that proposition should be rejected.

[51] As to the concept of conferring of benefit, what was involved was the performance of building work on property owned by the Lumbers in circumstances where there was a building contract between the Lumbers and Sons obliging Sons to perform that work and the Lumbers to pay Sons for it, and a subcontract between Sons and Builders obliging Builders to perform the work and Sons to pay Builders. As it happens, there was no material difference between the total price to be paid under the contracts. However, the case for Builders can be tested by supposing that there had been such a difference. Furthermore, the unusual agreement as to progress payments made between the Lumbers and Sons, an agreement that was closely connected with the personal relationship between Mr Warwick Lumbers and Mr McAdam, highlights the significance of the 1993 contract as, from the point of view of the Lumbers, the source of their legal rights and obligations. In *Steele v Tardiani* (1946) 72 CLR 386 at 402-403, which in one sense was a simpler case than the present because there was only one contract involved, Dixon J explained the problems of identifying, for the purpose of a quantum meruit claim not based on the contract, a "benefit" conferred on a building owner by the performance of work otherwise than in accordance with the contract. He accepted that, where building work is done outside the contract, and the benefit of the work is taken, there may arise an obligation to pay for the work. He went on to refer, however, to "the dilemma in which a building owner is placed". He quoted Collins LJ who said, in *Sumpter v Hedges* [1898] 1 QB 673 at 676:

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> Where, as in the case of work done on land, the circumstances are such as to give the defendant no option whether he will take the benefit of the work or not, then one must look to other facts than the mere taking the benefit of the work in order to ground the inference of a new contract … The mere fact that a defendant is in possession of what he cannot help keeping, or even has done work upon it, affords no ground for such an inference.

[52] The reference to an "inference of a new contract" may reflect an approach since overtaken by *Pavey & Matthews Pty Ltd v Paul*, but the problem involved in identifying a conferring or accepting of a benefit remains.

[53] The concept of "free acceptance" invoked by the majority in the Full Court, whatever its exact scope, is commonly related to a defendant who "did not take a reasonable opportunity open to him to reject the proffered services" (cf Goff and Jones, *The Law of Restitution*, 7th ed (2007) at [1-019]). That was not the situation of the Lumbers in the present case. Similarly, what was sought to be characterised as an "incontrovertible benefit" was that which Sons had undertaken to provide for the Lumbers and for which the Lumbers had agreed to pay Sons. If the principle relied upon by Builders extends to the claim by Builders against the Lumbers, it is difficult to see why it would not extend also to the work performed by the numerous subcontractors engaged by Sons and later by Builders. Much, perhaps most, of the physical construction work on the site was performed, and many of the physical materials brought to the site were supplied, by such subcontractors. Why Builders was in a different position from them vis-à-vis the Lumbers was not explained. In a broad colloquial sense, they were conferring benefits on the Lumbers, and the Lumbers were accepting those benefits, but that was not so in any legal sense.

[54] It was argued that the Lumbers had received a "windfall" and that it would be unconscionable of them to refuse to pay Builders for the work in question. This characterisation proceeds upon assumptions as to the respective rights and obligations of the Lumbers, Sons and Builders which, for reasons already stated, have not been justified. Insofar as the Lumbers have been relieved from liability to pay the full agreed price for the work done on their property it appears principally to be the consequence of Builders' failure to make or pursue a prompt claim against Sons, and Builders' failure to pursue its claim against Sons in the present proceedings. If that claim had been pursued, it may well have resulted in a claim by Sons against the Lumbers. Alternatively, it may be the consequence of the unexplained attitude of Sons in the letter written by Mr Malcolm Cook in early 1999. The procedural and evidentiary deficiencies in the case make it impossible to conclude that the conduct of the Lumbers in refusing to pay Builders is unconscionable. If they have been enriched, it is at the expense of Sons. If any party has been enriched at the expense of Builders, it is Sons.

[55] The restitutionary claim of Builders has not been made out.

GUMMOW, HAYNE, CRENNAN and KIEFEL JJ:

The framework for analysis

[75] The analysis undertaken by the majority in the Full Court proceeded from principles stated at a high level of abstraction. There were four elements in the framework of the analysis made by the Full Court: "benefit" (or "incontrovertible benefit"), "acceptance" (or "free acceptance"), "expense", and unconscionability. Obviously, much turns on what is meant by those terms and upon what are the features said to make retention of the "benefit" unconscionable. Adding words like "incontrovertible" and "free" to some of the terms emphasises the evident difficulties of definition. As is especially relevant here, much also turns on the particular facts and circumstances to which the terms are to be applied. None of the terms, "benefit", "acceptance" or "expense", can usefully be defined or applied without deciding whether attention is to be confined to the party who is identified as conferring the benefit and the recipient of that benefit, or account must be taken of the legal relationships that exist between one or other of those two parties and some third party or parties in relation to the events and transactions said to constitute conferring a "benefit", its "acceptance", or the incurrence of "expense".

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[76] In the present case, the majority in the Full Court directed principal attention to the relationship which it was held should be found to exist between Builders and the Lumbers. The legal relationship between the Lumbers and Sons was put to one side. Two bases for taking that step were identified. First, it was said that Sons "did not perform its obligations" under its contract with the Lumbers. It was said to be "not to the point for the Lumbers to claim that they are not liable to Builders because they have a contract with Sons, if Sons did not perform their part of the contract". Secondly, emphasis was given to the fact that Sons had acknowledged that it has no claim against the Lumbers. The majority in the Full Court concluded that in these circumstances "to uphold a claim in restitution by Builders in no way interferes with the contractual relationship between Sons and the Lumbers".

[77] These reasons will demonstrate that the legal relationship between Sons and the Lumbers cannot be dismissed from consideration, whether on the bases assigned by the majority in the Full Court or otherwise. When proper account is taken of the rights and obligations that existed between Sons and the Lumbers under their contract, the analysis made by the majority in the Full Court is shown to be flawed. The Lumbers are not shown to have received a "benefit" at Builders' "expense" which they "accepted", and which it would be unconscionable for them to retain without payment. No less importantly, proper analysis of the legal relationships revealed by the evidence will illustrate the dangers inherent in "top-down reasoning" (*Roxborough v Rothmans of Pall Mall* (2001) 208 CLR 516 at 544 [73] per Gummow J; *McGinty v Western Australia* (1996) 186 CLR 140 at 232 per McHugh J).

[78] The application of a framework for analysis expressed only at the level of abstraction adopted in this case, by reference to "benefit", "expense" and "acceptance" coupled with considerations of unconscionability, creates a serious risk of producing a result that is discordant with accepted principle, thus creating a lack of coherence with other branches of the law (See *Sullivan v Moody* (2001) 207 CLR 562 at 580-581 [53]-[55] per Gleeson CJ, Gaudron, McHugh, Hayne and Callinan JJ). There are two reasons of particular relevance to this case why that is so. They may be identified by reference to two questions which, although expressed separately, will later be seen to intersect in several ways. First, does applying the posited framework for analysis to the facts of the present case extend the availability of recovery beyond the circumstances in which a claim for work and labour done (or money paid) for and at the request of the defendant would be available? Secondly, and no less importantly, how is the result of applying this framework for analysis consistent with the obligations relevant parties undertook by their contractual arrangements?

[79] The doing of work, or payment of money, for and at the request of another, are archetypal cases in which it may be said that a person receives a "benefit" at the "expense" of another which the recipient "accepts" and which it would be unconscionable for the recipient to retain without payment. And as is well apparent from this Court's decision in *Steele v Tardiani* (1946) 72 CLR 386, an essential step in considering a claim in quantum meruit (or money paid) is to ask whether and how that claim fits with any particular contract the parties have made. It is essential to consider how the claim fits with contracts the parties have made because, as Lord Goff of Chieveley rightly warned in *Pan Ocean Shipping Co Ltd v Creditcorp Ltd* [1994] 1 WLR 161 at 166, 'serious difficulties arise if the law seeks to expand the law of restitution to redistribute risks for which provision has been made under an applicable contract'. In a similar vein, in the Comments upon §29 of the proposed *Restatement*, (3d), Tentative Draft No 3, 22 March 2004, "Restitution and Unjust Enrichment", the Reporter says:

> Even if restitution is the claimant's only recourse, a claim under this Section will be denied where the imposition of a liability in restitution would overturn an existing allocation of risk or limitation of liability previously established by contract.

[80] Likewise, it is essential to consider whether the facts of the present case yield to analysis as a claim for work and labour done, or money paid, because where one party (in this case, Builders) seeks recompense from another (here the Lumbers) for some service done or benefit conferred by the first party for or on the other, the bare fact of conferral of the benefit or provision of the service does not suffice to establish an entitlement to recovery. As Bowen LJ said in *Falcke v Scottish Imperial Insurance Company* (1886) 34 Ch D 234 at 248:

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> The general principle is, beyond all question, that work and labour done or money expended by one man to preserve or benefit the property of another do not according to English law create any lien upon the property saved or benefited, nor, even if standing alone, create any obligation to repay the expenditure. *Liabilities are not to be forced upon people behind their backs any more than you can confer a benefit upon a man against his will.* (emphasis added)

The principle is not unqualified. Bowen LJ identified salvage in maritime law as one qualification. Other cases, including other cases of necessitous intervention, may now be seen as further qualifications to the principle but it is not necessary to examine in this case how extensive are those further qualifications or what is their content. For the purposes of this case the critical observations to make are first that Builders' restitutionary claim does not yield to analysis as a claim for work and labour done or money paid and secondly, that Builders' restitutionary claim, if allowed, would redistribute not only the risks but also the rights and obligations for which provision was made by the contract the Lumbers made with Sons.

A claim for work and labour done or money paid?

[10.28] [81] At trial, Builders did not frame its claim against the Lumbers as a claim for work and labour done or money paid at the Lumbers' request. Builders, therefore, did not seek to prove that the Lumbers had ever asked Builders to do whatever Builders did in connection with building the Lumbers' house. And the evidence that was led at trial showed that the Lumbers had never asked Builders to do anything in connection with the Lumbers' house.

[82] On the hearing of the appeal to this Court, however, Builders submitted that acceptance of a benefit, without a request, would be sufficient, at least in this case, to found an action by Builders for work and labour done or money paid. Builders submitted that this conclusion was supported, if not required, by this Court's decision in *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221. That is not so.

[83] In *Pavey & Matthews* (1987) 162 CLR 221 at 227 per Mason and Wilson JJ, 256-257 per Deane J, a majority of this Court held that the right to recover on a quantum meruit does not depend on the existence of an implied contract but on a claim to restitution or one based on unjust enrichment. The concept of unjust enrichment was described by Deane J in *Pavey & Matthews* (1987) 162 CLR 221 at 256-257 as constituting:

> a unifying legal concept which explains why the law recognises, in a variety of distinct categories of case, an obligation on the part of a defendant to make fair and just restitution for a benefit derived at the expense of a plaintiff and which assists in the determination, by the ordinary processes of legal reasoning, of the question whether the law should, in justice, recognise such an obligation in a new or developing category of case.

[84] It is important to recognise two points about *Pavey & Matthews*. First, there was no issue in that case about whether the plaintiff, a builder, had a claim for work and labour done and materials supplied. The issue in the case was whether that claim was defeated by a statutory provision analogous to s 4 of the *Statute of Frauds* (UK) ("no action shall be brought upon any agreement … unless the agreement upon which such action shall be brought or some memorandum or note thereof shall be in writing and signed by the party to be charged therewith or some other person thereunto by him lawfully authorized"). In particular, the issue was whether the builder's action on a quantum meruit was a direct or indirect enforcement of the oral contract the parties had made. The majority in *Pavey & Matthews* (1987) 162 CLR 221 at 227 per Mason and Wilson JJ; see also at 256 per Deane J held that because "the true foundation of the right to recover on a quantum meruit does not depend on the existence of an implied contract" the action was not "one by which the plaintiff seeks to enforce the oral contract".

[85] The second point to be noted is that unjust enrichment was identified as a legal *concept* unifying "a variety of distinct categories of case": (1987) 162 CLR 221 at 257 per Deane J. It was *not*

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identified as a principle which can be taken as a sufficient premise for direct application in particular cases. …

[86] Builders' submission that acceptance of a benefit, without a request, suffices to found an action for work and labour done or money paid thus finds no direct support in *Pavey & Matthews*. That issue did not arise and was not decided in that case. Rather, the question to which *Pavey & Matthews* directs attention is whether the long-established and well-recognised category of cases constituted by claims for work and labour done or money paid at the *request* of another should be extended or developed in the manner for which Builders contended. And in that regard Builders emphasised what had been said by Doyle CJ, for the Full Court of the Supreme Court of South Australia, in *Angelopoulos v Sabatino* (1995) 65 SASR 1.

[87] It is convenient to consider the decision in *Angelopoulos* by reference to Builders' submission that, subject to one immaterial qualification, all the nine factors identified by Doyle CJ in *Angelopoulos* (1995) 65 SASR 1 at 12-13 as relevant to "acceptance" of a benefit, were present in this case. It is important, however, to preface that consideration by observing that although Builders' argument was directed immediately to demonstrating that "acceptance" of a benefit suffices to found an action for work and labour done or money paid, its arguments about the availability of an action for work and labour done or money paid were directed ultimately to the proposition that adopting the framework for analysis used by the majority in the Full Court in this case was not inconsistent with long-established principles governing actions for work and labour done or money paid.

[88] Adapting what was said by Doyle CJ in *Angelopoulos* to the facts of this case, the nine factors identified by Builders as supporting its claim were:

(a) the plaintiff (here, Builders) did not do the work gratuitously;

(b) Builders did not act "entirely at [its] own initiative" but at the implied request of the Lumbers;

(c) payment for doing the work was not subject to fulfilment of a subsequent condition;

(d) the work was not done "on a basis from which [Builders] chose to depart";

(e) the Lumbers benefited from what Builders did;

(f) the benefit was conferred at the expense of Builders;

(g) the Lumbers "approved of or agreed to" Builders carrying out the work it did;

(h) the circumstances were such that the Lumbers "must have known as … reasonable [persons] that [Builders] expected to be remunerated for [its] services"; and

(i) there is no particular circumstance (such as change of position) by virtue of which it would be unjust to require the Lumbers to remunerate Builders.

[89] It will be noted that the second of the matters identified was the making of an "implied request" by the Lumbers to Builders to do the work and to pay money. At once it should be pointed out that, if Builders did whatever work it did and paid whatever money it paid at the Lumbers' request, Builders' claim for a reasonable price for the work and for the money it paid would fall neatly within long-established principles. It would matter not at all whether the request was made expressly, or its making was to be implied from the actions of the parties in the circumstances of the case (*Birmingham and District Land Company v London and North Western Railway Company* (1886) 34 Ch D 261 at 274 per Bowen LJ; *Way v Latilla* [1937] 3 All ER 759 at 765 per Lord Wright). Builders would have an action for work and labour done or money paid for and at the request of the Lumbers.

[90] And if Builders did work or paid money at the Lumbers' request, it would also follow that it would be neither necessary nor appropriate to consider any of the other eight factors identified in *Angelopoulos* in deciding whether Builders could recover a fair price for the work it had done and the amount it had paid for and at the request of the Lumbers. To the extent that *Angelopoulos* is understood as requiring separate or additional consideration of those other factors, where a plaintiff seeks to recover a fair price for work done at the defendant's request, or the amount the plaintiff has paid for the defendant at the defendant's request, *Angelopoulos* is wrong and should not be followed.

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[91] But in the end Builders did not submit that it could be found that the Lumbers had made any request directed to Builders. Rather, Builders' arguments proceeded from the premise that, in the present case, the Lumbers' request (or requests) for work to be done and money paid was (or were) directed to Sons and not to Builders. Although Builders thus accepted that, unlike *Angelopoulos*, it could not be said that the Lumbers made any request directed to Builders, this difference from *Angelopoulos* was said to be immaterial. The identity of the party to whom the request was directed was said to be of no moment because confusion about which company in a group of companies is party to a contract is a common occurrence in modern corporate life (cf *Qintex Australia Finance Ltd v Schroders Australia Ltd* (1990) 3 ACSR 267 at 268). And although no case of mistake was run at trial, or on appeal to the Full Court, the possibility of confusion of identity between Sons and Builders was said by Builders to be reason enough to treat the fact of a request, regardless of the identity of the party to whom the request was directed, as the relevant consideration.

[92] The propositions just described take several steps that would require the closest consideration before they could be accepted. First, it may greatly be doubted that any sufficient foundation was laid in the evidence adduced or arguments advanced in the courts below for either an argument based in mistake about the identity of the party with whom the Lumbers dealt, or an argument based in some confusion of identity between Sons and Builders. Secondly, even if it were to be accepted that confusion about the identity of the relevant contracting parties can and sometimes does occur when a contract is made with one of a group of companies, the legal consequences of any such confusion have hitherto been determined by application of the law of contract and doctrines of mistake (*Qintex* (1990) 3 ACSR 267 at 276-277).

[93] It is not necessary, however, to pursue these aspects of the matter further. Rather, it is important to recognise that, although expressed in different terms, Builders' argument that the identity of the party to whom the Lumbers directed their request to do work and pay money should be dismissed as irrelevant, was an argument that sought to treat the contract made between the Lumbers and Sons as irrelevant.

[94] And it will be recalled that it was a necessary element of the reasoning of the majority in the Full Court to put aside further consideration of the contract between Sons and Lumbers. It will further be recalled that the majority in the Full Court took that step on the bases, first, that Builders "did the work" and Sons "did not perform its obligations" under its contract with the Lumbers, and secondly, that Sons acknowledged it had no claim against the Lumbers.

[95] Both bases for putting aside the contract between Sons and Lumbers are flawed.

…

The relevance of the contract between the Lumbers and Sons

[124] When account is taken of the contractual relationship between the Lumbers and Sons several observations may then be made.

[125] First, the Lumbers accepted no benefit at the expense of Builders which it would be unconscionable to retain. The Lumbers made a contract with Sons which either has been fully performed by both parties or has not. Sons made an arrangement or agreement with Builders which again has either been fully performed or it has not. If either the agreement between Sons and the Lumbers or the agreement or arrangement between Sons and Builders has not been fully performed (because all that is owed by one party to the other has not been paid) that is a matter between the parties to the relevant agreement. A failure of performance of either agreement is no reason to conclude that Builders should then have some claim against the Lumbers, parties with whom Builders has no contract.

[126] Because Builders had no dealings with the Lumbers, Builders has no claim against the Lumbers for the price of any work and labour Builders performed or for any money that Builders may have paid in relation to the construction. Builders has no such claim because it can point to no request by the Lumbers directed to Builders that Builders do any work it did or pay any money it did. Reference to

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whether the Lumbers "accepted" any work that Builders did or "accepted" the benefit of any money it paid is irrelevant. It is irrelevant because it distracts attention from the legal relationships between the three parties: the Lumbers, Sons and Builders. To now impose on the Lumbers an obligation to pay Builders would constitute a radical alteration of the bargains the parties struck and of the rights and obligations which each party thus assumed. There is no warrant for doing that.

[127] The second observation to be made is more general. It is that identification of the rights and obligations of the parties, in this as in any matter, requires close attention to the particular facts and circumstances of the case. Necessarily that requires close attention to what contractual or other obligations each owes to the other.

…

[128] Builders claim in restitution against the Lumbers fails.

Appeal allowed.

[Some footnote references have not been reproduced in these extracts from the judgments.]

MISTAKE

David Securities v Commonwealth Bank of Australia

[10.30] *David Securities Pty Ltd v Commonwealth Bank of Australia Ltd* (1991) 175 CLR 353 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: David Securities (one of the *appellants)* borrowed money from the Commonwealth Bank (the *respondent)*, through its Singapore branch. The *Income Tax Assessment Act 1936* (Cth) levied a tax (known as withholding tax) on interest payments made to non-residents. The Act required a resident Australian borrower paying interest to a non-resident lender to deduct the withholding tax and pay it to the Commissioner of Taxation. Clause 8(b) of the loan agreement made between David Securities and the Bank was a "grossing up" provision, which required David Securities to pay to the Bank any additional amounts necessary to meet any tax obligations and ensure that the Bank would receive the full amount of interest payable under the loan agreement. David Securities paid additional sums to the Bank in accordance with cl 8(b), without knowing that s 261 of the *Income Tax Assessment Act* rendered void any provision in a mortgage or collateral agreement requiring the mortgagor to pay income tax on the interest paid under the mortgage. David Securities sought to recover the amounts paid to the Bank under the cl 8(b). The Federal Court of Australia held that cl 8(b) was rendered void by s 261 of the Act, but no action was available to recover money paid under a mistake of law. On appeal, the High Court of Australia held unanimously that s 261 rendered cl 8(b) void. The extracts below deal with the question whether David Securities was entitled to recover the payments made pursuant to the void clause.]

MASON CJ, DEANE, TOOHEY, GAUDRON and McHUGH JJ: [362] Are the appellants entitled to restitution of moneys paid under a mistake of law?

…

[369] The *Restatement of the Law of Restitution* (American Law Institute (1937), p 179) states:

> Until the nineteenth century no distinction was made between mistake of fact and mistake of law and restitution was freely granted both in law and in equity to persons who had paid money to another because of a mistake of law.

David Securities v Commonwealth Bank of Australia cont.

In *Farmer v Arundel* (1772) 2 W Bl 824, 825; 96 ER 485, 486 De Grey CJ stated:

> When money is paid by one man to another on a mistake either of fact or of law, or by deceit, this action [ie assumpsit] will certainly lie.

However, in *Bilbie v Lumley* (1802) 2 East 469; 102 ER 448, Lord Ellenborough CJ refused recovery of moneys paid under a mistake of law. An underwriter sought recovery of moneys from a successful insurance claimant whom he had paid, unaware that non-disclosure by the insured of essential facts at the time of entering the insurance contract relieved the insurer from liability. The underwriter was in possession of all the facts which would have allowed him to deny liability. After counsel was unable to name a case in which recovery had been allowed to a plaintiff who was aware of all relevant facts, Lord Ellenborough CJ denied recovery on the basis of a maxim wholly inapplicable to the case, namely, ignorantia juris non excusat. [371] This approach appears to have been based on an obiter dictum in the judgment of Buller J in *Lowry v Bourdieu* (1780) 2 Doug 468, 471; 99 ER 299, 300 … On its facts, the decision in *Bilbie v Lumley* was probably correct because the payment appears to have been made voluntarily and not under any mistake at all.

… [372]

Bilbie v Lumley was distinguished in *Kelly v Solari* (1841) 9 M & W 54; 152 ER 24, a case allowing recovery of moneys paid under a mistake of fact. It thereby became entrenched as a decision denying recovery because the mistake of the plaintiff was one of law. Despite its dubious foundation, the principle gained such acceptance that Croom-Johnson J said of it that it was "beyond argument at this period in our legal history" (*Sawyer & Vincent v Window Brace Ltd* [1943] KB 32, 34).

The respondent claims that the principle has also been accepted in this Court; however, an examination of the relevant cases, apart from the statement of Williams J in *York Air Conditioning and Refrigeration (A/Sia) Pty Ltd v The Commonwealth* (1949) 80 CLR 11 at 30, suggests that they may also be reconciled with the narrower principle of voluntary submission. In *Werrin v The Commonwealth*, in which the plaintiff sought recovery of sales tax that he had paid upon secondhand goods sold by him, Latham CJ stated ((1938) 59 CLR 150 at 159 …):

> The principle appears to me to be quite clear that if a person, instead of contesting a claim, elects to pay money in order to discharge it, he cannot thereafter, because he finds out that he might have successfully contested the claim, recover the money which he so paid merely on the ground that he made a mistake of law.

In *South Australian Cold Stores Ltd v Electricity Trust of South Australia* (1957) 98 CLR 65, the plaintiff made monthly payments to the defendant of electricity charges assessed at an increased rate, then successfully challenged the validity of the Minister's order increasing the charges and sought recovery of the excessive charges paid over. Prior to making the monthly payments, the plaintiff had objected to the increased charge and had even declined to pay the extra amount pursuant to the first monthly account. In a unanimous judgment, the Court denied recovery …

[373] An important feature of the relevant judgments in these … cases is the emphasis placed on voluntariness or election by the plaintiff. The payment is voluntary or there is an election if the plaintiff chooses to make the payment even though he or she believes a particular law or contractual provision requiring the payment is, or may be, invalid, or is not concerned to query whether payment is legally required; he or she is prepared to assume the validity of the obligation, or is prepared to make the payment [374] irrespective of the validity or invalidity of the obligation, rather than contest the claim for payment. We use the term "voluntary" therefore to refer to a payment made in satisfaction of an honest claim, rather than a payment not made under any form of compulsion or undue influence. If such qualifying, factual circumstances are considered relevant, the sweeping principle that money paid under a mistake of law is irrecoverable or even the Federal Court's modification of that principle to the effect that mistake of law does not on its own found an action for the recovery of money paid is broader and more preclusive than is necessary. As the authorities cited earlier in explanation of

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the term "mistake of law" make clear, the concept includes cases of sheer ignorance as well as cases of positive but incorrect belief. To define "mistake" as the supposition that a specific fact is true, as Parke B did in *Kelly v Solari* (1841) 9 M & W at 58; 152 ER at 26, which was a mistake of fact case, leaves out of account many fact situations. A narrower principle, founded firmly on the policy that the law wishes to uphold bargains and enforce compromises freely entered into, would be more accurate and equitable.

The identification and acceptance of such a narrow principle is strongly supported by the difficulty and illogicality of seeking to draw a rigid distinction between cases of mistake of law and mistake of fact. The artificiality of this distinction and the numerous exceptions to it (Goff & Jones, *The Law of Restitution*, 3rd ed, 1986, pp 124-125) lie behind many of the calls for abolition of the traditional rule. Judge Learned Hand called it "that most unfortunate doctrine" (*St Paul Fire & Marine Ins Co v Pure Oil Co* (1933), 63 F (2d) 771, at 773). The Supreme Court of Canada indicated its willingness to abolish the rule in its recent decision of *Air Canada v British Columbia* (1989) 59 DLR (4th) 161, at 191 … Western Australia and New Zealand have abolished the rule by legislation (*Property Law Act 1969* (WA), ss 124 and 125 … *Judicature Act 1908* (NZ), ss 94A and 94B). The Law Reform Committee of South Australia … and the Law Reform [375] Commissions of New South Wales … and British Columbia … have recommended abolition of the rule, as has most recently the English Law Commission … Also very recently, the House of Lords has had occasion to refer to the strong criticism to which the traditional rule has been subjected (*Woolwich Building Society v Inland Revenue Commissioners* [1993] AC 142 …).

Commentators have been highly critical of both the fact versus law distinction and the traditional rule precluding recovery. Goff and Jones (op cit, p 119) reject the rule and seek to reconcile the cases with a narrower principle. Palmer, *Law of Restitution* (1978), vol 3, §14.27 is unable to find any reason to support treating restitution in cases of mistake of law any differently from cases of mistake of fact. Birks, *An Introduction to the Law of Restitution* (1989), pp 166-167 considers that the old rule cannot be justified and that recovery should be permitted in certain cases where there is a mistake of law. In Canada, the authors of a recent text on the law of restitution condemn the traditional rule and conclude that it is unnecessary to distinguish between mistakes of law and of fact in order to fulfil the policy in favour of the finality of dispute resolution (Maddaugh and McCamus, *The Law of Restitution* (1990), p 255). As the same authors say, it "would be difficult to identify another private law doctrine which has been so universally condemned" (ibid, p 256).

The criticism gains added impetus in Australia by virtue of the recognition by this Court in *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221, 256-257 of the "unifying legal concept" of unjust enrichment. As Dickson J stated in *Hydro Electric Commission of Nepean v Ontario Hydro* [1982] 1 SCR 347, at 367; (1982) 132 DLR (3d) 193, at 209:

Once a doctrine of restitution or unjust enrichment is recognized, the distinction as to mistake of law and mistake of fact becomes simply meaningless.

If the ground for ordering recovery is that the defendant has been unjustly enriched, there is no justification for drawing distinctions on the basis of how the enrichment was gained, except in so far as the manner of gaining the enrichment bears upon the justice of the case.

[376] In the light of our view that the decision in *South Australian Cold Stores Ltd v Electricity Trust of South Australia* (1957) 98 CLR 65 can in this Court be justified on a narrower basis and that the traditional rule was not necessary to the decision, there is no other decision of this Court which constrains us to adopt the traditional rule. For the reasons stated above, the rule precluding recovery of moneys paid under a mistake of law should be held not to form part of the law in Australia. In referring to moneys paid under a mistake of law, we intend to refer to circumstances where the plaintiff pays moneys to a recipient who is not legally entitled to receive them. It would not, for example, extend to a case where the moneys were paid under a mistaken belief that they were legally due and owing under a particular clause of a particular contract when in fact they were legally due and owing to the recipient under another clause or contract (*Barclays Bank Ltd v W J Simms Son &*

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Cooke (Southern) Ltd [1980] QB 677 at 695, per Robert Goff J: "Of course, if the money was due under a contract between the payer and the payee, there can be no recovery on this ground.").

Having rejected the so-called traditional rule denying recovery in cases of payments made under a mistake of law, it is necessary to consider what principle should be put in its place. It would be logical to treat mistakes of law in the same way as mistakes of fact, so that there would be a prima facie entitlement to recover moneys paid when a mistake of law or fact has caused the payment. Jurisdictions which have abolished the traditional rule by legislation have done so by stating that recovery should be allowed in cases of mistake of law in the same circumstances as it would be were the mistake one of fact (Western Australia and New Zealand).

[Their Honours considered and rejected alternative formulations of the rule and continued, at 378]. So, the payer will be entitled prima facie to recover moneys paid under a mistake if it appears that the moneys were paid by the payer in the mistaken belief that he or she was under a legal obligation to pay the moneys or that the payee was legally entitled to payment of the moneys. Such a mistake would be causative of the payment.

Is retention of the moneys "unjust"?

[10.35] However, the respondent argues that a plaintiff should be required to prove that retention of the moneys by the recipient would be unjust in all the circumstances before recovery should be granted; if the circumstances of the case showed that it would not be unjust for the recipient to retain the money, the fact that the plaintiff could point to a causative mistake, whether of fact or law, would not assist the plaintiff. According to the respondent's submissions, moneys paid under a mistake of law could only be recoverable in so far as the recipient has been unjustly enriched at the expense of the payer, such that it would be unconscionable for the recipient not to give restitution to the payer. In support of this approach, the respondent relies, inter alia, on the recent decisions of this Court in [*Australia & New Zealand Banking Group Ltd v Westpac Banking Corporation* (1988) 164 CLR 662] and *Pavey & Matthews*.

Although this alternative approach is not greatly different from that stated above, it does have important consequences in relation to the elements of the action which the plaintiff must plead and prove. It also appears to proceed from the view that in Australian law unjust enrichment is a definitive legal principle according to its own terms and not just a concept.

The two decisions of this Court just mentioned reject that approach. In *Pavey & Matthews* (1987) 162 CLR, at 256-257, Deane J stated:

> To identify the basis of such actions as restitution and not genuine agreement is not to assert a judicial discretion to do whatever idiosyncratic notions of what is fair and just might dictate…. That is not to deny the importance of the concept of unjust enrichment in the law of this country. It constitutes a [379] unifying legal concept which explains why the law recognizes, in a variety of distinct categories of case, an obligation on the part of a defendant to make fair and just restitution for a benefit derived at the expense of a plaintiff and which assists in the determination, by the ordinary processes of legal reasoning, of the question whether the law should, in justice, recognize such an obligation in a new or developing category of case.

Accordingly, it is not legitimate to determine whether an enrichment is unjust by reference to some subjective evaluation of what is fair or unconscionable. Instead, recovery depends upon the existence of a qualifying or vitiating factor such as mistake, duress or illegality. As this Court stated in *Westpac Banking Corporation* (1988) 164 CLR, at 673:

> In other words, receipt of a payment which has been made under a fundamental mistake is one of the categories of case in which the facts give rise to a prima facie obligation to make restitution, in the sense of compensation for the benefit of unjust enrichment, to the person who has sustained the countervailing detriment.

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As La Forest J stated in *Air Canada v British Columbia* [1989] 1 SCR, at p 1201, the two species of mistake (ie, fact and law) should be "considered as factors which can make an enrichment at the plaintiff's expense 'unjust' or 'unjustified' ".

The respondent's submission that the appellants must independently prove "unjustness" over and above the mistake cannot therefore be sustained. The fact that the payment has been caused by a mistake is sufficient to give rise to a prima facie obligation on the part of the respondent to make restitution. Before that prima facie liability is displaced, the respondent must point to circumstances which the law recognizes would make an order for restitution unjust (*Westpac Banking Corporation* (1988) 164 CLR, at 673). There can be no restitution in such circumstances because the law will not provide for recovery except when the enrichment is *unjust*. It follows that the recipient of a payment, which is sought to be recovered on the ground of unjust enrichment, is entitled to raise by way of answer any matter or circumstance which shows that his or her receipt (or retention) of the payment is not unjust.

Defences

[10.40] The two "defences" upon which the respondent relies in this Court are, first, that the payments by the appellants were made for good consideration and, secondly, that in reliance upon receipt of the payments the respondent, in good faith, changed its position to its detriment. In the context of a mistake case, these "defences" [380] were included in the well known formulation of Goff J in *Barclays Bank* [1980] QB, at 695. His Lordship stated:

> (1) If a person pays money to another under a mistake of fact which causes him to make the payment, he is prima facie entitled to recover it as money paid under a mistake of fact. (2) His claim may however fail if (a) the payer intends that the payee shall have the money at all events, whether the fact be true or false, or is deemed in law so to intend; or (b) the payment is made for good consideration, in particular if the money is paid to discharge, and does discharge, a debt owed to the payee (or a principal on whose behalf he is authorised to receive the payment) by the payer or by a third party by whom he is authorised to discharge the debt; or (c) the payee has changed his position in good faith, or is deemed in law to have done so.

Payments made for good consideration

The respondent argues that this is a case where the appellants, having accepted the benefit of performance by the respondent, now seek to recover part of the consideration promised for that performance, namely, the payments made referable to withholding tax. This argument and the respondent's attempt to analyze the facts on the broader basis of unjust enrichment rather than mistake specifically, already discussed, echo the view expressed by some writers that "the true basal principle which enables recovery of money paid under a mistake, whether of fact or law, is 'failure of consideration' " [Butler, "Mistaken Payments, Change of Position and Restitution", in Finn (ed), *Essays on Restitution* (1990) p 88. See also Matthews, "Money Paid Under Mistake of Fact" [1980] *New Law Journal* 587; *National Mutual Life Association v Walsh* (1987) 8 NSWLR 585 at 595-596]. It is unnecessary in the present context to assess the merits of this argument because, as we have stated, the more traditional approach, exemplified by the judgment of Goff J in *Barclays Bank* and the decision of this Court in *Westpac Banking Corporation*, specifically provides for the "defence" of valuable consideration.

The respondent submits that it agreed to lend money to the appellants at the rate named in the loan agreements because of the appellants' agreement to pay the additional amounts pursuant to cl 8(b). If it had known that these additional amounts were not payable, the respondent argues, it would have negotiated a different interest rate to ensure that its net return reached the required level. By not being charged this higher interest, the appellants have received consideration for the bargain. In the circumstances, they should not be allowed to take advantage of the chance to recover some of the money they had agreed to pay.

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The difficulty in evaluating this argument lies in the fact that it [381] depends primarily upon an assessment of the intention and purpose of the appellants at the time of entering the loan agreements and paying the additional amounts pursuant to cl 8(b). By stating that the appellants contracted to pay the additional amounts without adverting to the question of whether they could legally be forced to pay, the respondent effectively submits that the appellants voluntarily submitted to payment. This entails the conclusion that the appellants either cannot truly be said to have made a mistake, as they knew what they were agreeing to – a proposition discussed above – or waived inquiry into the issue and paid the additional amounts with the intention to effect an absolute transfer.

It is necessary to examine closely the terms of the loan agreement and the course of events preceding its signing in order to discover what the payer gave and expected to receive by way of consideration. It is only by doing this that it can be ascertained whether the payment of the additional amounts was absolute or conditional. If the payment was conditional, it was subject to the original or continued existence of a particular subject matter, such as an existing or future indebtedness or other obligation owed to the payee (*Porter v Latec Finance (Qld) Pty Ltd* (1964) 111 CLR, at 205). In this case, the evidence suggests that the appellants agreed to pay and actually paid the amounts representing withholding tax because the respondent represented that the withholding tax on interest payments must be met by the appellants. Such representations may have caused the appellants to believe that cl 8(b) took its form because of a general obligation on borrowers to pay the particular tax. When the matter is looked at in this light, it can be argued that the appellants agreed to pay the nominated interest rate as the price of the loan and further agreed to pay the additional amounts with which the Dee Why branch, as agent of the appellants, discharged what the appellants considered to be their own tax liability. However, the true situation was, of course, that the liability for payment of withholding tax fell upon the lender and that s 261 avoided any attempt to pass this burden on to a borrower in circumstances such as the present. The appellants thus had no indebtedness in respect of withholding tax, the discharge of which could form consideration for the payments under cl 8(b). Those payments were therefore not made for good consideration within the terms of the defence outlined in *Barclays Bank* and *Westpac Banking Corporation*.

The respondent, taking a different view of the contractual arrangements, asserts that all its pre-contractual statements concerning payment of withholding tax simply took the form of a [382] contractual offer, which the appellants were at liberty to accept or to reject. Viewed from the angle of contract formation between equal and experienced parties, this is undoubtedly true. But we are not concerned in this case with what a hypothetical, experienced commercial person believed he or she was contracting for; in order to decide whether the appellants in this case have received consideration for payment of the additional moneys, we must ask what these particular appellants, in all the circumstances, thought they were receiving as consideration. In this context, consideration means the matter considered in forming the decision to do the act, "the state of affairs contemplated as the basis or reason for the payment" (Birks, op cit, p 223). And, as we have stated, the "state of affairs" existing in the appellants' minds was that the withholding tax was their liability.

So, in the context of failure of consideration, the failure is judged from the perspective of the payer. In *Rover International Ltd v Cannon Film Ltd*, Kerr LJ stated ([1989] 1 WLR 912, 923; see also *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32, 48, per Viscount Simon LC):

> The question whether there has been a total failure of consideration is not answered by considering whether there was any consideration sufficient to support a contract or purported contract. The test is whether or not the party claiming total failure of consideration has in fact received any part of the benefit bargained for under the contract or purported contract.

On the other hand, there has been an insistence that the failure of consideration be *total*. The law has traditionally not allowed recovery of money if the person who made the payment has received any part of the "benefit" provided for in the contract (*Hunt v Silk* (1804) 5 East 449; 102 ER 1142; *Whincup v Hughes* (1871), LR 6 CP 78). However, as the passage already quoted from *Rover International Ltd* demonstrates, the notion of total failure of consideration now looks to the benefit bargained for by

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the plaintiff rather than any benefit which might have been received in fact. Thus, in *Rowland v Divall* [1923] 2 KB 500, the plaintiff succeeded in an action for repayment of the purchase price of a car he had bought from the defendant, unaware that the car had been stolen before it came into the defendant's possession. The defendant resisted the claim with the argument that the plaintiff could not prove total failure of consideration because he had used the car for several months. The Court of Appeal, however, [383] dismissed this argument on the ground that the plaintiff had not received "any part of that which he contracted to receive – namely, the property and right to possession" ([1923] 2 KB at 507).

Similarly, in *Rover International Ltd* itself, the plaintiff succeeded in its claim for restitution of payments made to the defendant even though the defendant had performed some of its obligations under the contract. The plaintiff was to dub and distribute films provided to it by the defendant and receive a share of the box office receipts as its payment. The plaintiff was also required to make substantial payments to the defendant in advance of recovering its share of the receipts. The defendant supplied the films to the plaintiff and the plaintiff made the pre-payments before breaching the contract. The plaintiff was then able to recover the pre-payments on the basis that the delivery and possession of the films were not what the plaintiff had bargained for; the "relevant bargain" was the opportunity to earn a substantial share of the gross receipts.

In cases where consideration can be apportioned or where counter-restitution is relatively simple, insistence on total failure of consideration can be misleading or confusing. In the present case, for instance, it is relatively simple to relate the additional amounts paid by the appellants to the supposed obligation under cl 8(b) of the loan agreements. The appellants were told that they were required to pay withholding tax and the payments that they made were predicated on the fact that, by so doing, they were discharging their obligation. Such an approach is no different in effect from the cases under the old statutes of usury whereby a borrower could recover from the lender the *excess interest* which the lender was prohibited from stipulating or receiving (eg, *Bosanquett v Dashwood* (1734) Cases T Talbot 38; 25 ER 648).

In this case, the Bank must prove that the appellants are not entitled to restitution because they have received consideration for the *payments which they seek to recover*. It does not avail the Bank to argue that the appellants were provided with the loan moneys agreed. Indeed, the severability of the loan agreement into its relevant parts would seem to be accepted by the Bank for it submitted that the appellants' consideration for agreeing to pay the additional amounts under cl 8(b) was the Bank's agreement not to charge a higher interest rate. In circumstances where both parties have impliedly acknowledged that the consideration can be "broken up" or apportioned in this way, any rationale for adhering to the traditional rule requiring *total* failure of consideration disappears.

It might be said that to order restitution in the present case [384] would, in the absence of any other defences, confer something in the nature of a windfall upon the appellants at the expense of the respondent. This possible result flows from the fact that, having proved mistake, the appellants are prima facie entitled to recovery and the respondent bears the onus of proving why an order for restitution would be unjust. Given the conclusion we have reached upon the issue of mistake and consideration, we need not examine the appellants' argument, based upon Lord Denning's judgment in *Kiriri Cotton Co Ltd v Dewani* [1960] AC, at p 204, that the Bank was primarily responsible for the mistaken payment or the argument that the payment should be recoverable because it was made pursuant to a contractual obligation rendered void by statute. However, factors of the kind outlined in *Kiriri* reinforce our conclusion as to the purposes of the parties when entering the loan agreement. The respondent knew of the existence of s 261 and understood its potential reach even if it was not aware that it invalidated cl 8(b). It acknowledged drafting cl 8(b) with s 261 in mind. In circumstances where the party in the best position to order its affairs in the light of specialist advice has deliberately chosen to charge a particular interest rate and seek additional amounts by virtue of separate provision in the loan agreement, there is no injustice to that party in ordering recovery. Otherwise the policy of s 261 would be defeated.

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Change of position

The respondent next submits that an order for restitution would be unjust because it has changed its position. The defence of change of position has not been expressly accepted in this country. In *Westpac Banking Corporation* (1988) 164 CLR, at 673, the Court referred to the displacement of prima facie liability by "some adverse change of position by the recipient in good faith and in reliance on the payment". The issue did not, however, arise for decision in that case. In this country, conflicting views have been expressed …. *In England, there is strong authority in favour of acceptance of the defence*, … most importantly the recent decision of the House of Lords in [385] *Lipkin Gorman v Karpnale Ltd* [1991] 2 AC 548, at 58, 568, 578-580. In the last case, Lord Bridge of Harwich, Lord Ackner and Lord Goff of Chieveley held that English law should recognize the defence, although they declined to define its scope. Text writers, such as Goff and Jones and Birks, also support the existence of the defence, particularly in view of the inflexibility of the related doctrine of estoppel, as evidenced by *Avon CC v Howlett* [1983] 1 WLR 605 where the Court of Appeal held that estoppel could not operate pro tanto. And, in Canada (*Rural Municipality of Storthoaks v Mobil Oil Canada Ltd* (1975) 55 DLR (3d) 1) and the United States (*Restatement of the Law of Restitution*, §69(1)), the defence of change of position has been recognized. Section 125(1) of the *Property Law Act 1969* (WA) and s 94B of the *Judicature Act 1908* (NZ) also provide for this defence.

If we accept the principle that payments made under a mistake of law should be prima facie recoverable, in the same way as payments made under a mistake of fact, a defence of change of position is necessary to ensure that enrichment of the recipient of the payment is prevented only in circumstances where it would be *unjust*. This does not mean that the concept of unjust enrichment needs to shift the primary focus of its attention from the moment of enrichment. From the point of view of the person making the payment, what happens after he or she has mistakenly paid over the money is irrelevant, for it is at that moment that the defendant is unjustly enriched. However, the defence of change of position is relevant to the enrichment of the defendant precisely because its central element is that the defendant has acted to his or her detriment on the *faith of the receipt* (Birks, op cit, p 410). In the jurisdictions in which it has been accepted (Canada and the United States), the defence operates in different ways but the common element in all cases is the requirement that the defendant point to expenditure or financial commitment which can be ascribed to the mistaken payment (*Rural Municipality of Storthoaks v Mobil Oil Canada Ltd* (1975) 55 DLR (3d), at 13; *Grand Lodge, AOUW of Minnesota v Towne* (1917) 161 NW 403, at 407). In Canada and in some United States decisions, the defendant has been required to point to *specific* expenditure being incurred because of the payment. Other cases in the United States (eg, *Moritz v Horsman* (1943) 9 NW 2d 868) allow a wider scope to the defence, such that a defendant can rely upon it even though he or she cannot precisely identify the expenditure [386] caused by the mistaken payments. In no jurisdiction, however, can a defendant resort to the defence of change of position where he or she has simply spent the money received on ordinary living expenses.

The difficulty lying in the path of acceptance or detailed explication of the defence in this case is that the facts which might give rise to a plea of the defence and thus require a decision by this Court were not adduced in the courts below. As mistake of law was only briefly raised by the appellants in the Federal Court, the respondent addressed no argument in support of the defence of change of position … The respondent should not be penalized for failing to provide evidence in support of the defence before the lower courts; it had no reason to fight the case on that basis. The case should be remitted to the trial judge for consideration of this issue.

In the result we would allow the appeal, set aside the order of the Full Court of the Federal Court in so far as it relates to the appellants' appeal on the cross-claim and in lieu thereof allow that appeal to the Full Court and set aside the order of the trial judge made 14 June 1989. We would remit the case to the trial judge for determination, in accordance with the judgment of this Court, of the following issues: (a) whether the appellants should be permitted to call evidence on the issue of mistake; (b) whether the appellants paid the additional amounts because of their mistaken belief that

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their contractual arrangements with the Bank required the payments; (c) whether the Bank changed its position on the faith of receipt of the payments by the appellants.

[10.45] BRENNAN J: [393] … I respectfully agree with the reasons of their Honours in the majority in the present case for rejecting the distinction between a mistake of fact and a mistake of law as critical to the question whether the defendant has been unjustly enriched. But that is not to say that the distinction is immaterial to the question whether there has been a mistake of the kind which entitles the plaintiff to restitution. The distinction between mistakes of fact and mistakes of law is material to the question whether a payment is "voluntary" and, on that account, is irrecoverable …

[396] Regretfully, I am unable to accept the proposal in the majority judgment that payments made in satisfaction of an honest claim should be classified as "voluntary" and, on that account, be held to be irrecoverable … That is not to say that payments made under a mistake of law in satisfaction of an honest claim should not be protected. To the contrary, they should be protected but, in my respectful opinion, not by characterizing such payments as voluntary …

[398] If it be desirable to introduce a principle to protect the finality of payments made under a mistake of law in satisfaction of what, to the mind of the payee, is an honest claim of right, it is not satisfactory to press into service the concept of voluntary payments … [399] I would therefore state the principle thus:

It is a defence to a claim for restitution of money paid or property transferred under a mistake of law that the defendant honestly believed, when he learnt of the payment or transfer, that he was entitled to receive and retain the money or property.

…

[400] No question of counter-restitution arises in this case. By operation of s 261 of the *Income Tax Assessment Act*, the Bank was contractually bound without payment of the tax equivalent to renew the advances during successive interest periods throughout the availability period. If the respective borrowers are now entitled to restitution in the amount of the tax equivalent, the Bank has not been prejudiced: it simply performed its contractual obligation. What the Bank might have done had it not received payment of the tax equivalent in accordance with cl 8(b) is irrelevant to any issue.

…

[401] I would join in making the orders proposed by their Honours in the majority judgment, but I would limit the questions to be remitted to those identified in the proposed order as (a) and (b).

[DAWSON J delivered a separate judgment in which he agreed with the orders proposed by MASON CJ, DEANE, TOOHEY, GAUDRON and MCHUGH JJ.]

Appeal allowed.

[10.46] **Note**

The headings in this extract were added by the casebook editors.

Australian Financial Services and Leasing v Hills Industries

[10.47] *Australian Financial Services and Leasing v Hills Industries* [2014] HCA 14; (2014) 253 CLR 560 (High Court of Australia) – Appeal from New South Wales Court of Appeal.

[FACTS: TCP was in financial difficulties and owed money to Hills and Bosch (the *respondents*). AFSL (the *appellant*) was induced by fraud on the part of TCP to make payments to Hills and Bosch

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to purchase equipment which AFSL intended to lease to TCP. In fact the equipment did not exist and the documentation was forged. Hills and Bosch received the payments in good faith, treated TCP's indebtedness to them as extinguished, discontinued litigation to recover the debts and recommenced trade with TCP. TCP later became insolvent and went into liquidation. After discovering the fraud, AFSL sought to recover the money paid to Hills and Bosch on the basis that it had been paid under a mistake of fact. Hills and Bosch claimed to have changed their positions on the faith of the payments. The primary judge held that AFSL was prima facie entitled to recover the amounts, since they were paid under a mistake of fact. Since Bosch had obtained judgments and garnishee orders which it relinquished on receipt of the payments, Bosch did make out the change of position defence. Hills, however, did not. The primary judge held that, given TCP's precarious financial position, Hills was unlikely to have been able to recover from TCP the amounts owed, so Hills failed to show any detriment arising from its change of position. The Court of Appeal held that both Hills and Bosch had made out the defence since each had lost a valuable opportunity to pursue its claims against TCP. AFSL appealed to the High Court of Australia.]
HAYNE, CRENNAN, KIEFEL, BELL and KEANE JJ:

AFSL's argument in this Court

[61] AFSL submitted that the position of each of Hills and Bosch was a case of bare receipt, not a receipt associated with or related to a valid legal transaction. The inquiry should be into the net enrichment of each recipient as a result of the receipt. On that basis, a court presented with a change of position defence based on the discharge of a debt, or loss of an opportunity to recover payment of a debt, must place a value on the debt which is repaid, or upon the lost opportunity to recover the debt, because the defence operates only pro tanto to the extent of that proven value. Otherwise, the recipient will remain unjustly enriched by the mistaken payment.

[62] AFSL submitted that, in this case, the debts owed by TCP to Hills and Bosch were worthless because TCP was unable to pay. The opportunities to recover payment by enforcing or securing repayment were therefore of minimal value. Accordingly, it was submitted that it would be unjust to permit Hills and Bosch to retain the whole of the mistaken payments and that the Court of Appeal erred in dispensing with the need for a recipient to prove, on the balance of probabilities, that its change of position caused any detriment and the extent of that detriment. Since Hills and Bosch did not part with any money in treating TCP's debts as discharged, they ought to be seen as having given away nothing of value.

…

The relevant inquiry: whether retention of moneys unconscionable

[65] The entitlement to recover money mistakenly paid to another in an action for money had and received has its roots in the decision of the Court of King's Bench led by Lord Mansfield in *Moses v Macferlan* (1760) 2 Burr 1005; 97 ER 676. Lord Mansfield expressly founded the action to recover money had and received to the use of the payer on the notion that retention of the money by the payee would be "against conscience" (at 1011, 680).

[66] Lord Mansfield explained that, in the case of mistaken payment, a plaintiff need not show special circumstances and may simply declare that the money was received by another to his use (at 1010, 679). His Lordship went on to say that, equally beneficially, a defendant "may go into every equitable defence, upon the general issue; he may claim every equitable allowance; … in short, he may defend himself by every thing which shews that the plaintiff, ex aequo et bono, is not intitled to the whole of his demand, or to any part of it". In *Sadler v Evans* (1766) 4 Burr 1984, 1986; 98 ER 34, 35 it was said that "[t]he defence is any equity that will rebut the action".

[67] Thus, in *David Securities Pty Ltd v Commonwealth Bank of Australia* (1992) 175 CLR 353 at 379, it was said that payment caused by mistake is sufficient to give rise to a prima facie obligation on the part of the recipient to make restitution. Before that prima facie liability is displaced, the recipient must point to circumstances which would make an order for restitution unjust. In words which echo

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those of Lord Mansfield in *Moses v Macferlan*, it was said that, in order to show that retention of the payment is not unjust, the recipient is entitled to raise "by way of answer any matter or circumstance".

[68] There can be no denying the equitable roots of the principle by which a claim for restitution of money had and received to the use of the payer is to be determined. In *Dale v Sollet* (1767) 4 Burr 2133, 2134; 98 ER 112, 113 Lord Mansfield said of the action: "This is an action for money had and received to the plaintiff's use. The plaintiff can recover no more than he is in conscience and equity entitled to". In *Clarke v Shee* (1774) 1 Cowp 197, 199-200; 98 ER 1041, 1042, his Lordship referred to the action as "a liberal action in the nature of a bill in equity; and if, under the circumstances of the case, it appears that the defendant cannot in conscience retain what is the subject matter of it, the plaintiff may well support this action".

[69] In *Roxborough v Rothmans of Pall Mall Australia Ltd* (2001) 208 CLR 516 at [100], Gummow J explained that the "equitable notions" of which Lord Mansfield wrote have been absorbed into the "fabric of the common law" right of action for money had and received. In this regard, it is to be noted that any reference to equitable notions does not invite a balancing of competing equities as between the parties, based on considerations such as fault. The question here is whether it would be inequitable in all the circumstances to require Hills and Bosch to make restitution. The answer to that question is not at large, but neither is it simply a measure of the monetary extent to which the recipient remains enriched by the receipt at the time of demand for repayment.

[70] In the United States, in *Atlantic Coast Line Railroad Co v Florida* 295 US 301 at 309 (1935), Cardozo J said:

> The claimant to prevail must show that the money was received in such circumstances that the possessor will give offense to equity and good conscience if permitted to retain it.

[71] The continuing influence of Lord Mansfield's view that the cause of action for money had and received depends on legal rules framed by reference to considerations of good conscience is also apparent in the judgment of Lord Wright in *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 at 63 and in the decision of the Supreme Court of the United States in *Great-West Life & Annuity Insurance Co v Knudson* 534 US 204 at 213-214 (2002).

[72] In *Lipkin Gorman (a firm) v Karpnale Ltd* [1991] 2 AC 548 at 580, Lord Goff of Chieveley stated that a defendant may rely upon a defence of change of position whenever "it would be inequitable in all the circumstances to require him to make restitution". Lord Templeman referred, with evident approval, to the observations of Lord Wright in *Fibrosa* in a way which suggests that Lord Templeman identified an unjust enrichment as a benefit that it would be against "conscience" to retain: [1991] 2 AC 548 at 559.

[73] *Lipkin Gorman* also proceeded upon the basis that English law had accepted unjust enrichment as a legal principle to be applied as a ground for liability. By reference to what was said by Lord Goff in that case respecting the defence of change of position ([1991] 2 AC 548 at 578), it would appear that the principle of unjust enrichment may have been intended to operate more widely than the action for money had and received, which requires the presence of vitiating factors such as mistake. In *David Securities* (1992) 175 CLR 353 at 378, the submission that unjust enrichment was a definitive legal principle was rejected. That position has since been maintained consistently by this Court: *Farah Constructions Pty Ltd v Say-Dee Pty Ltd* (2007) 230 CLR 89 at [151]; *Lumbers v W Cook Builders Pty Ltd (In liq)* (2008) 232 CLR 635 at [85]; *Friend v Brooker* (2009) 239 CLR 129 at [7]; *Bofinger v Kingsway Group Ltd* (2009) 239 CLR 269 at [86]. In *Friend v Brooker* (2009) 239 CLR 129 at [7], it was said that the concept of unjust enrichment was not a principle supplying a sufficient premise for direct application in a particular case. In *Farah Constructions Pty Ltd v Say-Dee Pty Ltd* (2007) 230 CLR 89 at [151], it was commented that there was potential for unjust enrichment as a principle to distort equitable doctrine and to generate new fictions. In *Roxborough* (2001) 208 CLR 516 at [74], Gummow J pointed out that:

> [S]ubstance and dynamism may be restricted by dogma. In turn, the dogma will tend to generate new fictions in order to retain support for its thesis. It also may distort well settled

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> principles in other fields, including those respecting equitable doctrines and remedies, so that they answer the newly mandated order of things. Then various theories will compete, each to deny the others.

[74] More recently, *Equuscorp Pty Ltd v Haxton* (2012) 246 CLR 498 at [30] confirmed that unjust enrichment does not found or reflect any "all-embracing theory of restitutionary rights and remedies" (*Roxborough v Rothmans of Pall Mall Australia Ltd* (2001) 208 CLR 516 at [72] per Gummow J). That case identified unconscionability as relevant and as derived from general equitable notions which find expression in the action for money had and received: (2012) 246 CLR 498 at [32]. As this Court acknowledged in *Australia and New Zealand Banking Group Ltd v Westpac Banking Corporation* (1988) 164 CLR 662 at 673, "contemporary legal principles of restitution or unjust enrichment can be equated with seminal equitable notions of good conscience".

[75] In Australia, the equitable roots of the action for money had and received were early recognised in *Campbell v Kitchen & Sons Ltd* (1910) 12 CLR 515. There, Barton J observed (at 531) that recovery "depends largely on the question whether it is equitable for the plaintiff to demand or for the defendant to retain the money". In *National Commercial Banking Corporation of Australia Ltd v Batty* (1986) 160 CLR 251 at 268, Gibbs CJ said:

> Whether the action is based on an implied promise to pay, or on a principle designed to prevent unjust enrichment, the emphasis on justice and equity in both old and modern authority on this subject supports the view that the action will not lie unless the defendant in justice and equity ought to pay the money to the plaintiff.

[76] This is not to suggest that a subjective evaluation of the justice of the case is either necessary or appropriate. The issues of conscience which fall to be resolved assume a conscience "properly formed and instructed" by established equitable principles and doctrines: *Australian Broadcasting Corporation v Lenah Game Meats Pty Ltd* (2001) 208 CLR 199 at [45]. As was said in *Kakavas v Crown Melbourne Ltd* [2013] HCA 25 at [16], "[t]he conscience spoken of here is a construct of values and standards against which the conduct of 'suitors' – not only defendants – is to be judged" (Gummow, *Change and Continuity: Statute, Equity, and Federalism* (1999) at 44-51).

Change of position and detrimental reliance

[77] As Gummow J, writing extrajudicially, has said ("Moses v Macferlan: 250 years on" (2010) 84 *Australian Law Journal* 756 at 760) "[I]t is important to appreciate that 'change of position' is a species of the genus 'inequitable', not a synonym for it." One category of case in which it would be inequitable to require a recipient to repay is where the recipient has so far altered its position in relation to the receipt that it would be a detriment to it if it were now required to repay.

[78] The approach argued by AFSL does not involve an inquiry as to whether it would be inequitable to require the recipient to repay. Instead, AFSL's approach focuses upon the extent to which Hills and Bosch have been "disenriched" subsequent to the receipt (Birks, *Unjust Enrichment*, 2nd ed (2005), pp 208-212. See also Burrows, *The Law of Restitution*, 3rd ed (2011), pp 526-527). This approach seeks to give effect to an understanding of unjust enrichment as a principle of direct application, which operates by measuring the extent of enrichment or, where a defence of change of position is invoked, the extent of disenrichment subsequent to that receipt. Such a "principle" does not govern the resolution of this case because the concept of unjust enrichment is not the basis of restitutionary relief in Australian law. The principle of disenrichment, like that of unjust enrichment, is inconsistent with the law of restitution as it has developed in Australia. Disenrichment operates as a mathematical rule whereas the inquiry undertaken in relation to restitutionary relief in Australia is directed to who should properly bear the loss and why. That inquiry is conducted by reference to equitable principles.

[79] In §65 of the *Restatement of the Law Third, Restitution and Unjust Enrichment*, under the rubric "Change of Position", the American Law Institute states:

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> If receipt of a benefit has led a recipient without notice to change position in such manner that an obligation to make restitution of the original benefit would be inequitable to the recipient, the recipient's liability in restitution is to that extent reduced.

[80] In *Lipkin Gorman* [1991] 2 AC 548 at 579, Lord Goff used similar language in explaining the basis of the change of position defence:

> [W]here an innocent defendant's position is so changed that he will suffer an injustice if called upon to repay or to repay in full, the injustice of requiring him so to repay outweighs the injustice of denying the plaintiff restitution.

[81] In *David Securities* (1992) 175 CLR 353 at 385, reference was made to what was said in *Lipkin Gorman* concerning the defence. It was observed that in *Lipkin Gorman*, Lord Bridge of Harwich, Lord Ackner and Lord Goff said that the defence should be recognised by English law but declined to define its scope. However, in *David Securities* the "central element" of the defence was identified as being "that the defendant has acted to his or her detriment on the faith of the receipt": Birks, *An Introduction to the Law of Restitution* (1989), p 410 (emphasis in original). Whether English cases subsequent to *Lipkin Gorman* have taken a wider view of the defence, one which eschews a requirement of detrimental reliance in favour of a mere causal link (*Scottish Equitable Plc v Derby* [2001] 3 All ER 818; *Commerzbank AG v Price-Jones* [2003] EWCA Civ 1663), cannot alter what was said in *David Securities* regarding the defence. Whether the conclusion reached in the English cases, including *Lipkin Gorman*, is different from that which would be reached by reference to equitable principles is a moot point. In any event, consistently with an inquiry as to whether it is unconscionable for the recipient to retain the moneys, it is necessary in cases such as the present to consider what was done by the recipient in reliance upon the receipt.

[82] In *David Securities*, in the passage in which reference is made to a recipient acting on the faith of the receipt, it was said that a common element in cases in Canada and the United States, where the defence has been accepted, is that it is necessary that the defendant point to "expenditure or financial commitment" which can be ascribed to the mistaken payment: *Rural Municipality of Storthoaks v Mobil Oil Canada Ltd* [1976] 2 SCR 147 at 164; *Grand Lodge, AOUW of Minnesota v Towne* 161 North Western Reporter 403 at 407 (1917). The passage does not provide precise direction as to the resolution of the issue in this case, but it is tolerably clear that their Honours did not suggest that the defence was available only to a recipient who was able to demonstrate monetary disenrichment on the faith of the mistaken payment.

[83] AFSL argued that it is necessary and appropriate to assess, forensically, the value of TCP's debts to Hills and Bosch, or their prospects of recovery, in order to measure the extent to which they remained enriched by AFSL's mistaken payments. AFSL's argument in this regard relied upon cases such as *Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64, especially at 83-84, 89-94, 100-104, 112-113, 118-126, 138, 145-147, 157-158 and *Sellars v Adelaide Petroleum NL* (1994) 179 CLR 332 at 349-350, 368. However, these cases concerned the assessment of damages by way of compensation for breach of contract or statutory or common law norms of conduct predicated upon proof of loss by reason of the breach. Here, Hills and Bosch had done AFSL no wrong that gave rise to an obligation to compensate AFSL for the loss suffered by it as a result. As Lord Goff observed in *Lipkin Gorman* [1991] 2 AC 548 at 578, restitutionary claims are not founded upon a wrong done to the payer.

[84] More importantly, under Australian law, a mathematical assessment of enduring economic benefit does not determine the availability of restitutionary remedies. The equitable doctrine which protects expectations, with which the notion of "detriment" is associated, is not concerned with loss caused by a wrong or a breach of promise (*Crabb v Arun District Council* [1976] Ch 179 at 198-199; *Commonwealth v Verwayen* (1990) 170 CLR 394 at 415, 429). As Deane J observed in *Commonwealth v Verwayen* (at 448), "[e]quity has never adopted the approach that relief should be framed on the basis that the only relevant detriment … is that which is compensable by an award of monetary damages". The equitable doctrine concerning detriment is concerned with the consequences that

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would enure to the disadvantage of a person who has been induced to change his or her position if the state of affairs so brought about were to be altered by the reversal of the assumption on which the change of position occurred (*Legione v Hateley* (1983) 152 CLR 406 at 437; *Riches v Hogben* [1985] 2 Qd R 292 at 300-302; *Giumelli v Giumelli* (1999) 196 CLR 101 at [35]-[44]; *Delaforce v Simpson-Cook* (2010) 78 NSWLR 483 at [5], [41]-[42]). On this view, the injustice which precludes such a result lies in the disadvantage which would result to the recipient if the payer were to be permitted to recover payments as mistakenly made where they have been applied by the recipient.

[85] This view accords with the understanding of detrimental reliance sufficient to ground an estoppel, as explained in *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641 at 674-675 by Dixon J. The fundamental purpose of an estoppel is to provide protection against the detriment which would flow from a party's change of position if the assumption which led to it were deserted: *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641 at 674; *Commonwealth v Verwayen* (1990) 170 CLR 394 at 410.

[86] While it may be accepted that estoppel affords a level of protection to expectations different from that afforded by the change of position defence (*Lipkin Gorman* [1991] 2 AC 548 at 579), and estoppel is also concerned with the manner in which expectations are created, both estoppel and the defence are grounded in that body of equitable doctrine that prevents the unconscientious assertion of what are said to be legal rights (*Norman v Federal Commissioner of Taxation* (1963) 109 CLR 9 at 33; *Commonwealth v Verwayen* (1990) 170 CLR 394 at 415, 429, 445; cf *Crabb v Arun District Council* [1976] Ch 179 at 195, 198-199; *Riches v Hogben* [1985] 2 Qd R 292 at 300-302). In *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641 at 674-675, Dixon J explained the precise ground on which estoppel precludes an otherwise good claim. Although lengthy, it is worthwhile setting his Honour's explanation out in full:

> [I]t is often said simply that the party asserting the estoppel must have been induced to act to his detriment. Although substantially such a statement is correct and leads to no misunderstanding, it does not bring out clearly the basal purpose of the doctrine. That purpose is to avoid or prevent a detriment to the party asserting the estoppel by compelling the opposite party to adhere to the assumption upon which the former acted or abstained from acting. This means that the real detriment or harm from which the law seeks to give protection is that which would flow from the change of position if the assumption were deserted that led to it. So long as the assumption is adhered to, the party who altered his situation upon the faith of it cannot complain. His complaint is that when afterwards the other party makes a different state of affairs the basis of an assertion of right against him then, if it is allowed, his own original change of position will operate as a detriment. His action or inaction must be such that, if the assumption upon which he proceeded were shown to be wrong and an inconsistent state of affairs were accepted as the foundation of the rights and duties of himself and the opposite party, the consequence would be to make his original act or failure to act a source of prejudice.

[87] It will be observed that Dixon J saw that a party's position, which had changed on the basis of an assumed state of affairs that is now sought to be altered, provided the necessary detriment. The passage makes clear that the detriment must flow from reliance upon that assumption (*Commonwealth v Verwayen* (1990) 170 CLR 394 at 415), when that assumption is to be departed from.

[88] Detriment has not been considered to be a narrow or technical concept in connection with estoppel. So long as it is substantial, it need not consist of expenditure of money or other quantifiable financial detriment, as Robert Walker LJ observed in *Gillett v Holt* [2001] Ch 210 at 232-233. His Lordship went on to say that the requirement of detriment must be approached as "part of a broad inquiry as to whether repudiation of an assurance is or is not unconscionable in all the circumstances". In the context of mistaken payments, the question is whether it would be unconscionable for a recipient who has changed its position on the faith of the receipt to be required to repay.

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[89] *Campbell v Kitchen & Sons Ltd* (1910) 12 CLR 515 is an example of a case where the continuance of an assumed state of affairs in business over a period of time and the disruption which would be caused if one or more payments were to be corrected were held to be determinative. Griffith CJ held (at 525) that it would be inequitable to require repayment from the defendant, which had, over a long time, received mistaken payments on a regular basis and took them into account in estimating and directing annual profits. His Honour dismissed the plaintiff's action for money had and received.

[90] In *London and River Plate Bank Ltd v Bank of Liverpool Ltd* [1896] 1 QB 7 at 11-12, Mathew J referred to the detrimental effect of the passage of time in the context of business:

> A holder of a bill cannot possibly fail to have his position affected if there be any interval of time during which he holds the money as his own, or spends it as his own, and if he is subsequently sought to be made responsible to hand it back. It may be that no legal right may be compromised by reason of the payment … but even in such a case it is manifest that the position of a man of business may be most seriously compromised, even by the delay of a day.

[91] In *Lipkin Gorman* [1991] 2 AC 548 at 578-579, Lord Goff referred to London and River Plate Bank as, on one possible view, an example of the change of position defence. These considerations have also, as Meagher JA observed below ([2012] NSWCA 380, [211]), influenced courts in the United States in decisions such as *Stephens v Board of Education of Brooklyn* 79 NY 183 at 186-188 (1879) and *Banque Worms v BankAmerica International* 570 NE (2d) 189 (1990).

[92] What was said in *London and River Plate Bank* may be understood to refer to the concern which has often been expressed in decisions of the courts about the finality of transactions and the security of receipts. In *Kleinwort Benson Ltd v Lincoln City Council* [1999] 2 AC 349 at 382, 384, Lord Goff suggested that defences such as change of position are concerned to protect the stability or finality of transactions. It may perhaps be more accurate to say that, where the defence of change of position is made out, finality is the result that is achieved. But the desirability of "certainty of receipts" cannot itself dictate the outcome of the inquiry respecting the actions taken by a recipient where a mistaken payment is made in a commercial context. It is necessary to recall that the action for money had and received is itself a qualification upon what the law otherwise regards as the overriding importance attached to the security of actual receipts (as observed by Gummow J in "Moses v Macfarlan: 250 years on" (2010) 84 *Australian Law Journal* 756 at 757).

[93] Here, Hills and Bosch not only continued to trade on the basis of the payments received, they discharged TCP's debts and no longer sought to recover them. In the *Restatement of the Law Third, Restitution and Unjust Enrichment* (2010), §65, Comment e, the American Law Institute acknowledges forbearance as relevant to the defence of change of position.

The disadvantage which Hills and Bosch would suffer

[94] AFSL sought to rely upon this Court's decision in *Australia and New Zealand Banking Group* (1988) 164 CLR 662, where a distinction was drawn between a case in which the change of position was constituted by a payment that had involved a true parting with money, and a case in which there was no physical payment but a credit entry had been made in the books of the recipient for or on behalf of another party. In that context, it was said (at 674) that:

> the courts will pay regard to the substance rather than to the form of what has occurred. Thus, the cases indicate that a mere book entry which has not been communicated to the third party or which can be reversed without affecting the substance of transactions or relationships will ordinarily not suffice.

[95] It is not accurate to characterise the payments to Hills and Bosch as "bare receipts" or "mere book entries", the amount of which affords a measure of unjust enrichment. It is an unattractive aspect of the approach urged by AFSL that a recipient who honestly appropriates a payment to discharge a debt owed to it is in the same position, so far as the change of position defence is concerned, as a

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recipient who receives a payment by way of advance against the supply of goods in the future. Even if it were accepted that AFSL neither entertained, nor expressed, an intention to discharge TCP's debts to Hills and Bosch, it is nevertheless the case that, as between each of Hills and Bosch on the one hand and TCP on the other, the payments were made and applied to discharge TCP's indebtedness to Hills and Bosch. Even if the discharges were legally reversible for some reason, such as TCP's fraud against AFSL, the consequence of such a reversal would be that Hills and Bosch would become unpaid creditors of TCP in its liquidation. In a practical sense, the receipts had consequences for Hills and Bosch beyond the simple fact of the receipt and these consequences were irreversible as a practical matter of business. Moreover, neither Hills nor Bosch was able to reverse the consequences of its decision to continue trading with TCP and the commercial risks that decision entailed.

[96] In the circumstances of this case, the disadvantages which would enure to Hills and Bosch if they were required to repay the moneys that each received from AFSL are such that it would be inequitable to require them to do so.

[97] It will be observed that these conclusions are not reached by first attempting to state comprehensively what is encompassed by the notion of a change of position, or the circumstances in which a defence described in that way is available to meet a claim for recovery of money paid under mistake. As has been explained, to apply reasoning of that kind (*McGinty v Western Australia* (1996) 186 CLR 140 at 232 per McHugh J. See also *Roxborough v Rothmans of Pall Mall Australia Ltd* (2001) 208 CLR 516 at [73] per Gummow J) would be sharply at odds with the established doctrine and unchallenged decisions of this Court in this area (See, eg, *Farah Constructions Pty Ltd v Say-Dee Pty Ltd* (2007) 230 CLR 89 at [151] per Gleeson CJ, Gummow, Callinan, Heydon and Crennan JJ; *Lumbers v W Cook Builders Pty Ltd (In liq)* (2008) 232 CLR 635 at [75]-[78] per Gummow, Hayne, Crennan and Kiefel JJ; *Friend v Brooker* (2009) 239 CLR 129 at [47] per French CJ, Gummow, Hayne and Bell JJ; *Bofinger v Kingsway Group Ltd* (2009) 239 CLR 269 at [90]-[91] per Gummow, Hayne, Heydon, Kiefel and Bell JJ).

[98] Attempts to describe the defence comprehensively, or to chart its metes and bounds, are apt to mislead by distracting attention from the content of the principle to the manner of its expression. Not only that, as Deane J rightly observed in *Commonwealth v Verwayen* (1990) 170 CLR 394 at 443:

> It is undesirable to seek to define exhaustively and in the abstract the content or operation of any general legal doctrine. Inevitably, there will be unforeseen and exceptional cases. Ordinarily, there will be borderline areas in which the interaction of the doctrine with other doctrines will be uncertain. Most important, it is part of the genius of the common law that development on a case-by-case basis enables its adaptation to meet changing circumstances and demands.

[FRENCH CJ and GAGELER J in separate judgments agreed that the appeal should be dismissed. In the course of his judgment GAGELER J made the following statements:]

> [157] The defence of change of position is established where a defendant proves the existence of two conditions. The first condition is that the defendant has acted (that is, done something the defendant would not otherwise have done) or refrained from acting (that is, not done something the defendant would otherwise have done) in good faith on the assumption that the defendant was entitled to deal with the payment which the defendant received. The defendant need not for the purpose of meeting this condition have acted on knowledge derived from the payer (*Port of Brisbane Corporation v ANZ Securities Ltd (No 2)* [2003] 2 Qd R 661 at [15]; *Citigroup Pty Ltd v National Australia Bank Ltd* (2012) 82 NSWLR 391 at [4]-[6]). Whether the defendant needs also to have acted reasonably is a question which does not now arise for determination. The second condition is that, by reason of having so acted or refrained from acting, the defendant would be placed in a worse position if ordered to make restitution of the payment than if the defendant had not received the payment at all. The detriment constituted by that difference in position need not, in every case, be financial or pecuniary. If financial or pecuniary, it need not, in every case, be established with precision.

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> It can be an opportunity forgone (eg, *Palmer v Blue Circle Southern Cement Ltd* (1999) 48 NSWLR 318). It must, in every case, be shown by the defendant to be substantial.
>
> [158] Where the defence is so established, the prima facie entitlement of the defendant is to maintain the assumption on which the defendant acted and, on that basis, to retain the whole of the payment. That entitlement is qualified to the extent that retention of the whole of the payment can be shown to be disproportionate to the degree of the detriment. Where the detriment is financial or pecuniary, can be quantified, and is less than the amount received, the entitlement of the defendant to retain the payment is reduced pro tanto.

Appeal dismissed.

[Some footnote references have not been reproduced in these extracts from the judgments.]

TOTAL FAILURE OF CONSIDERATION

Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour

[10.50] *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: An English company, the *respondent*, agreed to sell, and a Polish company, the *appellant*, agreed to buy, machinery for £4,800 of which one third was to be paid with the order. On 18 July 1939, the appellant paid to the respondent £1,000 on account of the initial payment of £1,600. On 1 September 1939, Germany invaded Poland and on 3 September, Britain declared war on Germany. On 7 September, the appellant's agents in England wrote to the respondent claiming the return of the £1,000, but the respondent refused to comply with this request, stating that considerable work had been done on the machinery. The appellant ultimately brought action for the return of the £1,000. The substantial defence was that the contract had been frustrated by the German occupation of Poland and that in these circumstances, the appellant had no right to the return of the £1,000.

Tucker J dismissed the action, and the Court of Appeal affirmed his decision. An appeal was brought to the House of Lords.]

VISCOUNT SIMON LC: [41] [T]he only other issue to be determined [is] whether, when this contract became frustrated, the appellants could … claim back from the respondents the £1,000 which they had paid when placing the order … MacKinnon LJ, in delivering the judgment of the Court of Appeal, said ([1942] 1 KB 12 at 27):

> Tucker J held that having regard to the principle laid down in *Chandler v Webster* [1904] 1 KB 493, and other like cases, this claim must fail. We think he was right, and, further, that that principle must equally bind this court to reject the claim. Whether the principle can be overruled is a matter that can only concern the House of Lords.

This alleged principle is to the effect that where a contract has [42] been frustrated by such a supervening event as releases from further performance, "the loss lies where it falls", with the result that sums paid or rights accrued before that event are not to be surrendered, but all obligations falling due for performance after that event are discharged. This proposition, whether right or wrong, first appears, not in *Chandler v Webster*, but in *Blakeley v Muller & Co* [1903] 2 KB 760n …

If we are to approach this problem anew, it must be premised that the first matter to be considered is always the terms of the particular contract. If, for example, the contract is "divisible" in the sense that a sum is to be paid over in respect of completion of a defined portion of the work, it may well be

Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour cont.

that the sum is not returnable if completion of the whole work is frustrated. If the contract itself on its true construction stipulates for a particular result which is to follow in regard to money already paid, should frustration [43] afterwards occur, this governs the matter. The ancient and firmly established rule that freight paid in advance is not returned if the completion of the voyage is frustrated (*Byrne v Schiller* (1871) LR 6 Ex 319), should, I think be regarded as a stipulation introduced into such contracts by custom, and not as the result of applying some abstract principle. And so, a fortiori, if there is a stipulation that the prepayment is "out and out". To take an example, not from commerce, but from sport, the cricket spectator who pays for admission to see a match cannot recover the entrance money on the ground that rain has prevented play if, expressly or by proper implication, the bargain with him is that no money will be returned … The question now to be determined is whether, in the absence of a term in the contract dealing with the matter, the rule which is commonly called the rule in *Chandler v Webster* should be affirmed … [45] The locus classicus for the view which has hitherto prevailed is to be found in the judgment of Collins MR in *Chandler v Webster* … When his judgment is studied, however, one cannot but be impressed by the circumstance that he regarded the proposition that money in such cases could not be recovered back as flowing from the decision in *Taylor v Caldwell* (1863) 3 B & S 826; 122 ER 309. *Taylor v Caldwell*, however, was not a case in which any question arose whether money could be recovered back, for there had been no payment in advance, and there is nothing in the judgment of Blackburn J, which, at any rate in terms, affirms the general proposition that "the loss lies where it falls". The application by Collins MR of *Taylor v Caldwell* to the actual problem with which he had to deal in *Chandler v Webster*, at 499, deserves closer examination …

[46] It appears to me that the reasoning in this crucial passage is open to two criticisms:

(a) The claim of a party, who has paid money under a contract, to get the money back, on the ground that the consideration for which he paid it has totally failed, is not based on any provision contained in the contract, but arises because, in the circumstances that have happened, the law gives a remedy in quasi-contract to the party who has not got that for which he bargained. It is a claim to recover money to which the defendant has no further right because in the circumstances that have happened the money must be regarded as received to the plaintiffs' use. It is true that the effect of frustration is that, while the contract can no further be performed, "it remains a perfectly good contract up to that point, and everything previously done in pursuance of it must be treated as rightly done", but it by no means follows that the situation existing at the moment of frustration is one which leaves the party that has paid money and has not received the stipulated consideration without any remedy. To claim the return of money paid on the ground of total [47] failure of consideration is not to vary the terms of the contract in any way. The claim arises not because the right to be repaid is one of the stipulated conditions of the contract, but because, in the circumstances that have happened, the law gives the remedy. It is the failure to distinguish between the action of assumpsit for money had and received in a case where the consideration has wholly failed, and an action on the contract itself, which explains the mistake which I think has been made in applying English law to this subject matter. Thus, in *Blakeley v Muller & Co*, Lord Alverstone CJ said: "I agree that *Taylor v Caldwell* applies, but the consequence of that decision is that neither party here could have sued on the contract in respect of anything which was to be done under it after the procession had been abandoned." That is true enough, but it does not follow that because the plaintiff cannot sue "on the contract" he cannot sue dehors the contract for the recovery of a payment in respect of which consideration has failed. In the same case, Wills J relied on *Appleby v Myers* (1867) LR 2 CP 651, where a contract was made for the erection by A of machinery on the premises of B, to be paid for on completion. There was no prepayment and in the course of the work the premises were destroyed by fire. It was held that both parties were excused from further performance, and that no liability accrued on either side, but the liability referred to was liability under the contract, and the learned judge seems to have thought that no action to recover money in such circumstances as the present could be conceived of unless there was a term of the contract, express or implied, which so provided. Once it is realised that the action to recover money for a consideration that has wholly failed rests, not on a contractual bargain

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between the parties, but, as Lord Sumner said in *Sinclair v Brougham* [1914] AC 398 at 452, "upon a notional or imputed promise to repay", or (if it is preferred to omit reference to a fictitious promise) upon an obligation to repay arising from the circumstances, the difficulty in the way of holding that a prepayment made under a contract which has been frustrated can be recovered back appears to me to disappear.

[T]here is, no doubt, a distinction between cases in which a contract is "wiped out altogether", for example, because it is void as being illegal from the start or as being due to fraud which the innocent party has [48] elected to treat as avoiding the contract, and cases in which intervening impossibility "only releases the parties from further performance of the contract". But does the distinction between these two classes of case justify the deduction of Collins MR that "the doctrine of failure of consideration does not apply" where the contract remains a perfectly good contract up to the date of frustration? This conclusion seems to be derived from the view that, if the contract remains good and valid up to the moment of frustration, money which has already been paid under it cannot be regarded as having been paid for a consideration which has wholly failed. The party that has paid the money has had the advantage, whatever it may be worth, of the promise of the other party. That is true, but it is necessary to draw a distinction. In English law, an enforceable contract may be formed by an exchange of a promise for a promise, or by the exchange of a promise for an act – I am excluding contracts under seal – and thus, in the law relating to the formation of contract, the promise to do a thing may often be the consideration, but when one is considering the law of failure of consideration and of the quasi-contractual right to recover money on that ground, it is, generally speaking, not the promise which is referred to as the consideration, but the performance of the promise. The money was paid to secure performance and, if performance fails the inducement which brought about the payment is not fulfilled.

If this were not so, there could never be any recovery of money, for failure of consideration, by the payer of the money in return for a promise of future performance, yet there are endless examples which show that money can be recovered, as for a complete failure of consideration, in cases where the promise was given but could not be fulfilled … The conclusion is that the rule in *Chandler v Webster* is wrong, and that the appellants can recover their £1,000.

While this result obviates the harshness with which the previous view in some instances treated the party who had made a prepayment, it cannot be regarded as dealing fairly between the parties in all cases, and must sometimes have the result of leaving the recipient who has to return the money at a grave disadvantage. He may have incurred expenses in connection with the partial carrying out of the contract which are equivalent, or more than equivalent, to the money which he prudently stipulated should be prepaid, but which he now has to return for reasons which are no fault of his. He may have to repay the money, though he has executed almost the whole of the contractual work, which will be left on his hands. These results follow from the fact that the English common law does not undertake to apportion a prepaid sum in such circumstances….

[LORD ATKIN, LORD RUSSELL OF KILLOWEN, LORD MACMILLAN, LORD WRIGHT, LORD ROCHE, and LORD PORTER delivered opinions to a similar effect.]

Appeal allowed.

[10.53] Note

See further *Baltic Shipping Co v Dillon* (1993) 176 CLR 344, 355, extracted at [27.180], where Mason CJ notes that the decision in the *Fibrosa case* correctly reflects the law in Australia, and the High Court explores the requirement that failure of consideration must be total.

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[10.55] *Roxborough v Rothmans of Pall Mall Australia Ltd* [2001] HCA 68; (2001) 208 CLR 516 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: The *Business Franchise Licences (Tobacco) Act 1987* (NSW) required tobacco retailers and wholesalers to pay a "licence fee" calculated by reference to the value of tobacco sold. The appellants (tobacco retailers) purchased tobacco products from the respondent (a tobacco wholesaler) on terms that required the appellants to pay the wholesale price of the goods plus the "tobacco licence fee", which was separately identified in invoices issued by the respondent. The appellants passed this cost on to consumers by including it in their retail prices. In *Ha v New South Wales* (1997) 189 CLR 465, the High Court of Australia held that the tobacco licence fee was an excise duty, which was invalid under s 90 of the *Commonwealth Constitution*. The appellants sought to recover from the respondent the amounts they had paid to the respondent as "tobacco licence fees", but which the respondent was not required to pay to the revenue authorities as a result of the *Ha* decision. The appellants' claim failed at first instance and before the Full Federal Court.]

GLEESON CJ, GAUDRON and HAYNE JJ: [527] Although an attempt was made by the appellants to invoke an implied agreement under which they could claim repayment of any unpaid tax, it was artificial and unconvincing. The parties made no agreement, express or implied, about what was to happen if the tax was held to be invalid. If there is here a right to enforce repayment upon the basis of a failure of consideration, it is because, in the circumstances, the law imposes upon the respondent an obligation to make just restitution for a benefit derived at the expense of the appellants (*Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221 at 257, per Deane J). If there had been a total failure of consideration, because, for example, there had been a prepayment for goods which were never delivered, the respondent's duty to make restitution would have been clear. But there are two questions. The first is whether there has been a failure of a severable part of the consideration. The second is whether, in the absence of restitution, the respondent will retain money at the expense of the appellants. The second problem arises because the appellants have passed on the burden of the tax. According to the respondent, if the respondent has been enriched, then that has been at the expense, not of the appellants, but of the customers of the appellants, and justice does not require it to make restitution to the appellants.

It accords with the basis of dealing, and contractual arrangements, between the appellants and the respondent to regard that part of the net total amount of each invoice referable to the "tobacco licence fees" as a severable part of the consideration, which has failed. There is no conceptual objection to this. For the reasons already given, the tax component of the net total wholesale cost was treated as a distinct and [528] separate element by the parties. It was externally imposed. It was not agreed by negotiation. It was not like the discounts, which might differ between retailers, just as the wholesale list price would vary from time to time in accordance with market conditions. To permit recovery of the tax component would not result in confusion between rights of compensation and restitution, or between enforcing a contract and claiming a right by reason of events which have occurred in relation to a contract (cf *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32; *Baltic Shipping Co v Dillon* (1993) 176 CLR 344).

It then becomes necessary to consider the respondent's objection based upon the fact that, at least in a practical sense, the burden of the tax has been passed on by the appellants to their customers. The factual basis of this objection cannot be refuted. It is in the nature of an indirect tax that it enters into the cost of the goods the subject of the tax and is borne by the consumers of the goods. The conclusion that the character of the tax was that of a tax on tobacco rather than a personal tax on wholesalers and retailers was an important part of the reasoning leading to the decision that it was a duty of excise.

Although the factual basis of the objection is correct, it is necessary to be clear as to its legal frame of reference. It cannot be simply an assertion that the appellants lack merit. In that respect, their position is no worse than that of the respondent. It was put on the basis that any enrichment of the respondent is not at the expense of the appellants and that, in consequence, the equitable foundation for a claim for restitution does not exist. But this, in turn, assumes that, in the circumstances of a case

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such as the present, it would only be unconscionable of the respondent to withhold repayment of the amounts referable to the tax if the appellants, for their part, were ultimately left impoverished to that extent. It is clear that, in a direct and immediate sense, the payments were made by the appellants, out of their own funds, to the respondent. They did not pay the amounts as agents, on behalf of third parties. The consumers of cigarettes, in an economic sense, bore the burden of the tax, but they were never legally liable as taxpayers. The appellants themselves were taxpayers under the licensing scheme, although if the respondent paid, or became liable to pay, tax in respect of particular tobacco products, the value of those products was disregarded in calculating the appellants' licence fees. And the respondent passed the tax on to the appellants, not merely in an economic sense, but also by the express terms of the dealings between the parties. They dealt on the basis that the appellants would pay to the respondent an amount equal to that part of the respondent's "tobacco licence fees" referable to the products sold to the appellants.

There having been a failure of a distinct and severable part of the consideration for the net total payments made by the appellants to the [529] respondent, then, as between the parties to the payments, the respondent has no right to retain the amounts in question. If the tobacco products in question remained unsold by the appellants at the time the claims for repayment arose for determination, the respondent's obligation to make restitution would be clear. Why does it make a difference to the conscientiousness of the respondent's retention of the moneys that the products were sold by the appellants at prices that had the practical effect of recouping the expense they bore in paying the "tobacco licence fees"? The holders of licences were those upon whom the tax was imposed, but they were always intended to pass the tax on to the consumers. As between the licensees, it was the appellants who incurred the expense, in that they were charged, and paid, a severable amount for the purpose of the tax.

…

The appellants were entitled to succeed in their claim for money had and received by the respondent to the use of the appellants.

[10.60] GUMMOW J: [539] The appellants rely upon the principle encapsulated by Viscount Haldane LC in *Royal Bank of Canada v The King* [1913] AC 283, *296* …:

> It is a well-established principle of the English common law that when money has been received by one person which in justice and equity belongs to another, under circumstances which render the receipt of it a receipt by the defendant to the use of the plaintiff, the latter may recover as for money had and received to his use. The principle extends to cases where the money has been paid for a consideration that has failed.

…

[540] [T]he identification of a satisfactory doctrinal basis for the action is a more difficult matter. The common money counts, particularly after the decisions of Lord Mansfield, have occupied an uneasy position in the legal system between the three great sources of obligation in private law, tort, contract and trust.

… [543]

Unjust enrichment theory

[10.65] Writing extrajudicially, Justice Paul Finn has said of the concept of "unjust enrichment" that "[a]t a quite visceral level it provides an important catalyst to further legal inquiry", particularly as "a unifying legal concept" which "explains why the law recognises an obligation to make restitution in particular contexts" (Finn, "Equitable Doctrine and Discretion in Remedies", in Cornish et al (eds), *Restitution: Past, Present and Future* (1998) 251, p 251). The conventional view is that it is the unjust enrichment which gives rise to the obligations of restitution. However, Justice Finn expresses concern that the concept of unjust enrichment may "contrive legal analysis" and continues (in a passage I would adopt) (ibid 252):

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> [T]o the extent that it directs attention to outcomes and to the character to be attributed to them, it is capable of concealing rather than revealing why the law would want to attribute a responsibility to one party to provide satisfaction to the other. This is particularly so where, as is so often the case, it is conduct in a relationship or dealing – an expectation created and relied upon; a mistake not corrected; etc – which provides the focus of legal attention and which generates the issue of legal policy for which resolution is required. This, I suspect, provides the reason why "unconscionable conduct" and not "unjust enrichment" (a possible effect of that conduct) has achieved the currency it has in Australian law.

However, in *Baltic Shipping* (1993) 176 CLR 344 at 359, Mason CJ said that, in cases of money had and received, the retention of the money in question "is regarded, in the language of Lord Mansfield, as 'against conscience' or, in the modern terminology, as an unjust enrichment of the defendant because the condition upon which it was paid, namely, performance by the defendant may not have occurred"…. Nevertheless, reflection will demonstrate that the notion of unjust enrichment cannot be accepted as a modern synonym for a refusal "against conscience" to pay the money in question. This is because, as Rothmans emphasised in its submissions, the action for money had and received lies against defendants who fail to account but who, on any sensible understanding of the term, have not been enriched. A recent example … is the decision of the New Zealand [544] Court of Appeal in *Martin v Pont* [1993] 3 NZLR 25. A principal who entrusted money to an agent for the purpose of investing it with a nominated finance company was entitled to recover from the agent when, by reason of a defalcation by an employee of the agent which did not benefit the agent, the purpose was not carried out.

Considerations such as these, together with practical experience, suggest caution in judicial acceptance of any all-embracing theory of restitutionary rights and remedies founded upon a notion of "unjust enrichment". To the lawyer whose mind has been moulded by civilian influences, the theory may come first, and the source of the theory may be the writing of jurists not the decisions of judges. However, that is not the way in which a system based on case law develops; over time, general principle is derived from judicial decisions upon particular instances, not the other way around.

In *McGinty v Western Australia* (1996) 186 CLR 140 at 232, McHugh J referred to Judge Posner's description of "top-down reasoning" by which a theory about an area of law is invented or adopted and then applied to existing decisions to make them conform to the theory and to dictate the outcome in new cases. Judge Posner spoke of the use of the theory by its adherents ("Legal Reasoning From the Top Down and From the Bottom Up: The Question of Unenumerated Constitutional Rights" (1992) 59 *University of Chicago Law Review* 433, 433):

> to organise, criticise, accept or reject, explain or explain away, distinguish or amplify the existing decisions to make them conform to the theory and generate an outcome in each new case as it arises that will be consistent with the theory and with the canonical cases, that is, the cases accepted as authoritative within the theory.

As it happens, Lord Mansfield favoured the development of legal principle by a journey in the opposite direction. In *Ringsted v Lady Lanesborough* (1783) 3 Dougl 197, 203; 99 ER 610, 613, his Lordship said:

> General rules are, however, varied by change of circumstances. Cases arise within the letter, yet not within the reason, of the rule; and exceptions are introduced, which, grafted upon the rule, form a system of law.

Unless, as this Court indicated in *David Securities Pty Ltd v* [545] *Commonwealth Bank of Australia* (1992) 175 CLR 353, 378-379, unjust enrichment is seen as a concept rather than a definitive legal principle, substance and dynamism may be restricted by dogma. In turn, the dogma will tend to generate new fictions in order to retain support for its thesis. It also may distort well settled principles in other fields, including those respecting equitable doctrines and remedies, so that they answer the newly mandated order of things. Then various theories will compete, each to deny the others. There

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is support in Australasian legal scholarship for considerable scepticism respecting any all-embracing theory in this field, with the treatment of the disparate as no more than species of the one newly discovered genus [Gummow J referred to the work of Stoljar, Tilbury, Glover, Dietrich, Grantham and Rickett, Wright, Doyle, Kremer and Jaffey].

On the other hand, the action to recover the moneys sought by the appellants after the failure of the purpose of funding Rothmans to renew its licence may be illustrative of the gap-filling and auxiliary role of restitutionary remedies (Dietrich, *Restitution: A New Perspective* (1998), pp 29-35; Grantham and Rickett, "On the Subsidiarity of Unjust Enrichment" (2001) 117 *Law Quarterly Review* 273, 289-293). These remedies do not let matters lie where they would fall if the carriage of risk between the parties were left entirely within the limits of their contract. Hence there is some force in the statement by Laycock ("The Scope and Significance of Restitution" (1989) 67 *Texas Law Review* 1277, at p 1278):

> The rules of restitution developed much like the rules of equity. Restitution arose to avoid unjust results in specific cases – as a series of innovations to fill gaps in the rest of the law.

… [557]

In the present case, there has been no failure in the performance by Rothmans of any promise it made. No question of repudiation by it of its contractual obligations arises. The question is that stated by Deane J in *Muschinski* set out earlier in these reasons. Is it unconscionable for Rothmans to enjoy the payments in respect of the tobacco licence fee, in circumstances in which it was not specifically intended or specially provided that Rothmans should so enjoy them? The answer should be in the affirmative. Here, "failure of consideration" identifies the failure to sustain itself of the state of affairs contemplated as a basis for the payments the appellants seek to recover (*David Securities Pty Ltd v Commonwealth Bank of Australia* (1992) 175 CLR 353, 382; *Baltic Shipping Co v Dillon* (1993) 176 CLR 344 at 389; *Goss v Chilcott* [1996] AC 788, 797).

At this stage attention is required to the notion that the failure relied upon be "total". The general rule, exemplified in *Baltic Shipping*, is that where there has been a partial failure in performance of a contractual promise there is no right to recover back a proportionate part of the money paid on an action for money had and received. One reason for this requirement that the failure be "total" appears to be that, in cases in which the question has arisen, the plaintiff already will have a remedy in damages which will be governed by principles of compensation under which the plaintiff may recover no more than the loss sustained; to allow the plaintiff to claim restitution in respect of any breach, particularly where the plaintiff had made a bad bargain by paying the defendant more than the defendant's performance was worth, would cut across the compensatory principle (Treitel, *The Law of Contract*, 10th ed (1999), p 978).

… [558]

In the present case, the appellants have no contractual remedy in respect of the retention of the moneys in question after the removal of the need for licence renewals as necessary conditions for the continuation of their businesses and that of Rothmans.

The circumstance that it is necessary for the appellants to pay the total of the invoiced amounts in order to obtain delivery and passing of title to the tobacco products supplied by Rothmans does not inevitably point to the conclusion that the sum designated in respect of "tobacco licence fee" was referable solely to the delivery and transfer of property in the tobacco products sold by Rothmans. The parties contracted not only for the supply of the tobacco products but also, in the light of the provisions of s 41 of the Act, with respect to the renewal of the wholesaler's licence and the funding for that to take place. Whilst that is understood, the very form of the transactions indicates that the payments made by the appellants can be "broken up" (See *David Securities Pty Ltd v Commonwealth Bank of Australia* (1992) 175 CLR 353 at 383; *Goss v Chilcott* [1996] AC 788 at 797; *Wayne County Produce Co v Duffy-Mott Co Inc* (1927) 155 NE 669).

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[10.70] KIRBY J (dissenting): [559] In the hands of the wholesaler, the [sums claimed] represented a windfall. The retailers sued the wholesaler to recover the component of the price paid by them as licence fees unpaid under the Act. However, as was found by the Federal Court (and as was contemplated by the arrangement between the wholesaler and the retailers), the retailers had already passed on to their customers (the ultimate consumers of the tobacco products) the costs of the licence fees paid by them to the wholesaler ((1999) 95 FCR 185, 199). The attempt of the retailers to recover a share of the wholesaler's windfall was not a selfless one, ventured on behalf of their customers. Neither before the proceedings reached this Court, nor in answer to repeated questions asked of their counsel, did the retailers indicate the slightest interest in recovering the whole, or [560] any part, of the windfall for the benefit of the consumers. They wanted the windfall for themselves.

There is nothing unusual in the pursuit of personal gain. Most litigation is motivated by the interests of the parties. However, the question presented by this appeal, as I would approach it, is whether the entitlements asserted by the retailers require, or permit, a disturbance of the status quo as it stood when this Court struck down the Act imposing the tobacco licence fees. Must part of the windfall to the wholesaler, who is undeserving, be passed to the retailers, equally undeserving, without any provision, sought or offered, to recompense the consumers, who are deserving because they ultimately paid amounts towards the unrecovered licence fees? Or should the windfall remain where it is, on the footing that no basis is shown by statute, by equity or by the common law to sustain the recovery claimed by the retailers?

… [562]

So far as the claim for restitution for mistake is concerned, the Full Court correctly found that the payments made by the retailers to the wholesaler had been made pursuant to valid and enforceable contracts. The payments were therefore not recoverable on the basis that each payment had been made under a mistake either of fact or law. Although the retailers relied on the decision of this Court in *David Securities Pty Ltd v Commonwealth Bank of Australia* (1992) 175 CLR 353, 376, that case is distinguishable. There, the *Income Tax Assessment Act 1936* (Cth) (s 261(1)) had rendered void a borrower's contractual obligation to pay the lender amounts under a loan agreement in respect of income tax on the interest payable. The mistake relied upon was the borrower's ignorance of the statutory provision. In the present case, the decision of this Court invalidating the Act did not, as such, invalidate any contracts to pay sums calculated by reference to licence fees payable under the Act. Indeed, no term of the contracts between the parties was invalidated by any decision of this Court. In every case, the retailers' payments to the wholesaler were thus made in discharge of their obligations to the wholesaler under contracts between them that were incontestably valid. The cause of the payment of the sums by the retailers to the wholesaler was thus the obligation of the former to the latter under binding contracts. It was not any mistake as to the constitutional validity of the Act … This ground of claim was therefore rightly rejected. It too can be disregarded.

… [577]

The claim to restitution for a failure of consideration

[10.75] The final ground upon which the retailers claimed relief was for restitution on the basis of a failure of consideration. The payments made by the retailers to the wholesaler were made in discharge of express contractual obligations agreed between them. The wholesaler discharged its part of such obligations by supplying the goods in question to the retailers. Those goods were supplied in accordance with an agreed price. That price, in each instance, subsumed, and included within it, various component parts, only one of which was that of the licence fees. No doubt it also included component parts for notional charges for acquisition of raw tobacco product, warehousing, packaging, processing, transport, overheads and the like. The separate appearance of the component for the tobacco licence fees on the wholesaler's invoices was doubtless convenient for accounting purposes. It permitted the ready aggregation of the licence fees then thought to be payable under the Act. But the *legal* obligation of the retailers to the wholesaler was to pay the price of the goods in full….

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In the foregoing circumstances, it is impossible to assert that there has been a total failure of consideration. The individual contracts between the wholesaler and the retailers were uncontestably valid. They were not ineffective. Nor were they terminated. Far from attempting to terminate the contracts for the supply of goods by the wholesaler, the retailers actually accepted the goods in every case. They onsold them to consumers, thereby recovering the component for licence fees about which they now complain. The law of restitution [578] only rarely operates in the context of an effective contract (*Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221 at 256). The present, in my opinion, is not a case that falls within one of the recognised exceptions.

The retailers nonetheless claimed to recover under a "unifying principle" of restitution for unjust enrichment at their expense. They did so on the basis that, notwithstanding that consideration had not *totally* failed, some *part* of the consideration could be separately identified, apportioned and then seen as having failed. This submission should be rejected.

By their terms, the contracts between the wholesaler and the retailers left the obligation of the wholesaler to pay the tobacco licence fee to the government entirely out of account. It was unsurprising that this should have been so. At the time the contracts were agreed to, the obligation to pay the tobacco licence fees arose not by any *contractual* agreement at all but by the operation of *statute* law, namely pursuant to the duties purportedly imposed by the Act. As the majority in the Full Court explained, the retailers could succeed in a claim for restitution on the ground of failure of consideration only if the wholesaler was bound to them by the promise to pay the amount identified as being for the licence fees and such promise was wholly unperformed.

In light of the then understanding of the obligations of the Act, it borders on the surreal to suggest that the wholesaler "promised" the retailers that it would pay the licence fees to the government, in default of which payment there would be a failure of consideration in respect of that part of the price paid. Not only does this hypothesis defy the express terms upon which the parties traded with each other. It also contradicts the historical fact that the obligation of the wholesaler to pay the tax was an obligation imposed on the wholesaler not by private contract but by the terms of the Act.

I therefore agree with the Full Court that the basis for asserting a right to recover at common law was not established. The moneys were not had and received by the wholesaler to the use of the retailers. Properly analysed, they were had and received in discharge of a contractually stipulated price payable in full in exchange for the supply of specified goods which were duly delivered.

This is not a surprising conclusion. Nor is it an application of the law of restitution different from the way that body of law has developed in Australia. The ghost of implied contract as the basis for [579] restitution may indeed have been exorcised following the decision of this Court in *Pavey & Matthews Pty Ltd v Paul* … But it is still necessary to demonstrate a legal foundation for any enforceable obligation to make restitution. Relevantly, the retailers propounded a partial failure of consideration for the contracts they entered with the wholesaler. But when this proposition fails, by reference to the analysis of the evidence and of the applicable legal principles, what is left? To establish an entitlement to restitution, at the least, some requirement in law and justice must be shown to displace the clear legal obligation that the retailers assumed to pay the wholesaler in full a price, meaning the entire price, for the supply of the goods duly received.

When failure of consideration is seen as inapplicable in this case, no other legal basis of restitution exists to give rise to recovery. Restitution arose as a remedy "to avoid unjust results in specific cases" (Laycock, "The Scope and Significance of Restitution" (1989) 67 *Texas Law Review* 1277, 1278). By no means does the present case involve an unjust result. The retailers rejected any obligation to reimburse their consumers, who carry the ultimate burden of the licence fees. There has been no *unjust* enrichment of anyone at the expense of the retailers. It is true that the wholesaler has secured a "windfall". But that is by operation of law upon the consequences of the valid and enforceable contracts agreed between the parties. Those parties should be held to those contracts.

As a matter of legal policy, this Court should be extremely slow before introducing an entitlement to restitution in a case where total failure of consideration cannot be shown but only a partial failure.

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The reasons for such caution are obvious. In many bargains, parties recover less than they expected. If in every case (or even many cases) courts could be inveigled into judging an alleged partial failure of consideration, on the footing that it entitles a disappointed contracting party to recover the loss of which it complains by way of restitution, the brake on legal claims that has hitherto been imposed will be released. Even more than at present, and without statutory authority, there will then be transferred into courts of law arguments that are substantially about economic disappointment. Until now, the common law has resisted such claims. The imperium of restitution should not be extended to reverse such settled law.

Conclusion and order

[10.80] The "windfall" should remain with the wholesaler to await the legislative measures (if any) for disgorgement to the benefit of users of tobacco products, or otherwise, as the Federal Parliament may enact. [580] No constructive trust, nor implied term, nor restitutionary principle requires, or permits, disturbance of this position.

[CALLINAN J delivered a separate judgment in which he concluded (at 589) that "the appellants have made out a case for the recovery of the money paid on the basis that relevantly there has been a total failure of consideration, that is to say, a failure in respect of a discrete, clearly identified component of the consideration".]

Appeal allowed.

[10.85] Notes

1. A number of references to cases and academic writing have not been reproduced in these extracts from the judgments.
2. The availability of a restitutionary claim to recover payments made under a valid contract raises important questions about the relationship between the law of contract and the law of restitution. Beatson and Virgo ("Contract, Unjust Enrichment and Unconscionability" (2002) 118 LQR 352, 355–6) doubt that failure of consideration provided a proper basis for ordering restitution of the payments in the *Roxborough case*:

> The doubtfulness stems from the fact that a fundamental principle relating to the application of the ground of total failure of consideration in particular, and unjust enrichment generally, is that the law of restitution is subordinate to the law of contract. It follows that restitutionary remedies are generally only available in a contractual context once the contract has been set aside, for example for breach, frustration or because it is unenforceable (see … *Pavey and Matthews v Paul* (1987) 162 CLR 221 at 256 …) … [T]here may be exceptional circumstances where restitutionary relief can be awarded even though the contract has not been terminated, but only where this would not subvert the allocation of risk … But there was no evidence in *Roxborough* that the risk of the licence fee being invalid was placed on the wholesaler rather than the retailers.

Compare Bryan, "Rescission, Restitution and Contractual Ordering: The Role of Plaintiff Election" in Robertson (ed), *The Law of Obligations: Connections and Boundaries* (2004) 72, who argues that:

> The real focus … should be not upon satisfying any termination requirement, which will at best be a purely formal step, but upon determining whether an order of restitution,

> if granted, would be inconsistent with the contractual allocation of risk agreed between the parties.

Bryan and Ellinghaus, "Fault Lines in the Law of Obligations" (2000) 22 *Sydney Law Review* 636, 663 suggest (quoting Beatson) that:

> In *Roxborough* it could hardly be claimed that the contract allocated the risk that the tobacco licensing scheme might turn out to be unconstitutional. This was "a gap in the contractual allocation" which allowed room for "applying the principle of unjust enrichment", even if the contract was still operative.

Mann v Paterson Constructions Pty Ltd

[10.87] *Mann v Paterson Constructions Pty Ltd* [2019] HCA 32 – On Appeal from the Court of Appeal of the Supreme Court of Victoria.

[FACTS: The *respondent* builder contracted to build two townhouses for the *appellant* owners. When the work was nearing completion, the owners wrongfully repudiated the contract by purporting to terminate it when they had no right to do so. The builder successfully terminated the contract on the basis of that repudiation by the owners. Terminating a contract on the basis of the other party's repudiation is commonly referred to as "accepting" the repudiation. The contract required the owners to pay a fixed price for the building work in accordance with a Progress Payments Table, which set out the amount to be paid on completion of each specified stage of construction. The builder had been paid for some of the work done under the contract but remained unpaid in respect of work falling into three categories: first, work done in respect of completed stages (for which there was an accrued right to payment under the contract); secondly, work done in respect of uncompleted stages (for which a right to payment under the contract had not yet accrued); and thirdly, work done in respect of variations to the contract plans requested by the owners. The builder instituted proceedings in the Victorian Civil and Administrative Tribunal (VCAT), seeking either damages for breach of contract (in the amount of approximately $450,000), or alternatively recovery on a quantum meruit for work done under the contract for which he had not been paid. The builder was awarded $660,000 by VCAT on the quantum meruit claim. An appeal to a single judge of the Supreme Court of Victoria and a further appeal to the Court of Appeal were both unsuccessful. The owners appealed to the High Court of Australia on the grounds that:

(1) the builder was not entitled to recover on a quantum meruit, but only damages for breach of contract;

(2) if the builder was entitled to recover on a quantum meruit, the contract price operated as a cap on the amount recoverable; and

(3) the quantum meruit claim was affected by the *Domestic Building Contract Act 1995* (Vic) (the DBC Act), s 38.]

GAGELER J: [57] As [Nettle, Gordon and Edelman JJ] explain, the Builder's claim to recover by way of restitution a sum of money representing the value of work done by the Builder for the benefit of the Owners before the Contract was terminated upon the Builder's acceptance of the Owners' repudiation covered work within three distinct categories:

(1) work done by the Builder in respect of variations to the plans and specifications set out in the Contract which were asked for by the Owners;

(2) work done by the Builder in respect of the plans and specifications set out in the Contract for which the Builder had accrued a contractual right to payment under the Contract at the time of its termination; and

(3) work done by the Builder in respect of the plans and specifications set out in the Contract for

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> which the Builder had not yet accrued any contractual right to payment under the Contract at the time of its termination.

…

[58] Section 38 of the DBC Act governs recovery by the Builder for work done within category (1). I agree with the construction of s 38 arrived at by Nettle, Gordon and Edelman JJ and I agree with the substance of their Honours' reasons for arriving at that construction.

…

[61] The correct outcome in relation to work done within category (2) is that a non-contractual *quantum meruit* is not available to the Builder. In my opinion, the preferable outcome in relation to work done within category (3) is that a non-contractual *quantum meruit* is available to the Builder. Although those conclusions accord with the conclusions reached by Nettle, Gordon and Edelman JJ, I reach them by a narrower path of reasoning.

[62] There can be no doubt about the outcome in relation to work done within category (2). The result of the Builder's acceptance of the Owners' repudiation is that the Builder still has in respect of that work the same accrued contractual right to payment under the Contract as the Builder had up until the time of termination of the Contract (*McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457 at 476-477; *Westralian Farmers Ltd v Commonwealth Agricultural Service Engineers Ltd* (1936) 54 CLR 361 at 379-380; *GEC Marconi Systems Pty Ltd v BHP Information Technology Pty Ltd* (2003) 128 FCR 1 at 155 [651]). The Builder can enforce that accrued contractual right in a common law action in debt (*Young v Queensland Trustees Ltd* (1956) 99 CLR 560 at 567, 569).

[63] The continuing existence of a contractual right to payment, enforceable by an action in debt, leaves no room to recover payment by another action in debt on a non-contractual *quantum meruit*. …

[65] More difficulty attends the outcome in relation to work done within category (3). Determining the outcome requires this Court to make a choice. Should the Builder be restricted in respect of that work to enforcing the Builder's undoubted entitlement to recover damages for loss occasioned to the Builder in consequence of the termination of the Contract? Or should the Builder be able to elect to recover instead an amount representing the value of the work by way of restitution on a non-contractual *quantum meruit*?

[Gageler J discussed the relevant authorities and the reasons (summarised at the end of paragraph [78] below) for allowing a restitutionary claim in this category of case and continued.]

[76] To recognise the "unjustness" of the defaulting party having had the benefit of the services rendered by the innocent party in part performance of the contract in a case of a default amounting to a wrongful repudiation, I do not think it necessary to analogise to any other category of case. Nor do I think it appropriate to attempt to discern and apply some other all-embracing criterion of liability in the common law of restitution. By preferring to maintain a narrow focus, I am adhering to the standard common law judicial technique of deciding no more than what needs to be decided.

…

[78] The concept of "total failure of consideration", renamed as "failure of basis", was invoked in novel circumstances to explain the imposition of an obligation to repay money that had been paid in *Roxborough* (2001) 208 CLR 516 at 524-529 [14]-[24], 555-558 [101]-[109], 589 [199] and to explain the imposition of an obligation to pay for services that had been rendered in *Barnes v Eastenders Cash & Carry Plc* [2015] AC 1 at 41-44 [103]-[115]. Undoubtedly, the concept can help to explain the imposition of obligations to make restitution across a range of established categories of case. The present category is one in which the concept has some explanatory power. … One party has rendered services, from which the other has benefited, on a "basis" that "has failed to sustain itself" in the events that have occurred. That is to isolate an important part of the story. But it is not to tell

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the whole story. The other important parts that need to be told are that the services were rendered pursuant to a valid contract which the defaulting party has wrongfully repudiated and which the innocent party has terminated so as to result in the innocent party failing to accrue a right to payment for the services under the contract yet having an entitlement to claim damages from the defaulting party for non-completion of the contract.

[79] Useful as the concept of total failure of consideration or failure of basis can be, it is important not to surrender to that one concept the hegemonic status steadfastly denied to the concept of unjust enrichment (cf *Roxborough* (2001) 208 CLR 516 at 543-544 [71]-[73]; *Barnes v Eastenders Cash & Carry Plc* [2015] AC 1 at 41 [102], 43 [113]). The common law method, as Sir Frederick Jordan himself observed extra-judicially, has never purported to be one in which the determination of a particular case has been deduced from supposed "fundamental principles of justice". The general principles of the common law are, in his language, "built up" from the "collation of decided cases" (Jordan, *Appreciations* (1950) at 58-59). They are monitored by reference to how well they fit within the wider body of the law and how well they work in practice; where problems are revealed, they can be revised or even abandoned at the appropriate level within the judicial hierarchy.

[80] Bearing constantly in mind the adage that the life of the common law has been not logic but experience (Holmes, *The Common Law* (1881) at 1), there is a need to resist the temptation to intellectual gratification that accompanies any quest to portray cases in which the common law recognises an obligation of restitution as the conscious or unconscious application of one Very Big Idea. The need is to avoid the pitfalls of overgeneralisation (See Smith, "Restitution: A New Start?", in Devonshire and Havelock (eds), *The Impact of Equity and Restitution in Commerce* (2019) 91 at 95-96), just as it is to ensure that considerations that are practically important but theoretically inconvenient are not overlooked or underappreciated.

…

[82] The critical question in the present category of case is why the common law should not treat the innocent party as adequately remunerated for the services rendered to the defaulting party by having an entitlement to maintain an action for damages for breach of the contract in part performance of which the innocent party rendered those services. …

[83] My view is that the answer to that critical question cannot lie in the notion of the contracting parties having arrived at a contractual "allocation of risk", which the common law of restitution will not disturb (cf *Lumbers v W Cook Builders Pty Ltd (In liq)* (2008) 232 CLR 635 at 663 [79]). Contracting parties are, of course, at liberty to determine by contract the "secondary" obligations, which are to arise in the event of breach or termination of the "primary" obligations they have chosen to bind them (*Moschi v Lep Air Services Ltd* [1973] AC 331 at 350). … However, it would be artificial as a matter of commercial practice and wrong as a matter of legal theory to conceive of contracting parties who have not addressed the consequences of termination in the express or implied terms of their contract as having contracted to limit themselves to the contractual remedy of damages in that event. Parties contract against the background of the gamut of remedies that the legal system makes available to them. The common law gives to them the benefit, and saddles them with the detriment, of what they expressly or impliedly agree in their contract. Outside the scope of what they agree in their contract, the common law gives to them what the common law itself allows them to get.

[84] Nor can I see that the answer is to be found in the notion that overlapping remedies in contract and in restitution are in some way anomalous. Tidiness has never been a feature of a common law system. Overlapping remedies available at the option of an innocent party against another party who is in contractual default are commonplace. Remedies at common law can overlap with those in equity. At common law, causes of action in contract can overlap with causes of action in tort, and the potential for a cause of action in restitution to overlap with a cause of action in damages for breach of contract was recognised in *Baltic Shipping Co v Dillon* (1993) 176 CLR 344 at 355.

[85] Rather, I consider that answering the critical question needs to be informed by a weighing of the practical consequences of continuing to allow an innocent party to maintain a non-contractual

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quantum meruit as an alternative to an action for unliquidated damages for breach of contract. To those consequences I now turn.

[86] One practical consequence which flows from a non-contractual *quantum meruit* being "in the theory of the law" an action for a debt is that the action can have significant procedural advantages to an innocent party over an action for damages for breach of contract under procedural rules in Australian courts. (See generally Mason, Carter and Tolhurst, *Mason & Carter's Restitution Law in Australia*, 3rd ed (2016) at 1025 [2922].) Typically, those advantages include a capacity to obtain default judgment …

[87] More importantly, a non-contractual *quantum meruit* has the advantage that proof of the value of services rendered is almost invariably more straightforward than proof of contractual loss. Questions of causation and remoteness play no part. The availability of the action allows the innocent party to choose to adopt the course of quickly and cheaply obtaining judgment for an easily quantifiable liquidated amount instead of embarking on a long and more expensive and more uncertain pursuit of a potentially larger judgment for unliquidated damages. Choice by the innocent party to adopt that course has the flow-on systemic advantage of shortening trial and pre-trial processes.

[88] The practical considerations are not all one way. Against permitting recovery on an action for a non-contractual *quantum meruit* for the value of services rendered under the contract is the prospect of a party recovering more as a result of termination of the contract than would have been due to that party had the contract been performed. If the value of the services rendered is to be determined independently of the contract, as the common law of Australia as declared by intermediate courts of appeal currently stands, recovery in excess of the contract price has the real potential to occur in two main scenarios. One is where the contract has turned out to be under-priced, with the result that the party faces the prospect of making a loss by going on to complete performance. The other is where the contract has been structured to allocate a higher proportion of the overall contract price to work performed at earlier stages for which the party has already accrued a contractual right to payment (Dennys and Clay, *Hudson's Building and Engineering Contracts*, 13th ed (2015) at 926 [8-019]).

[89] With the potential to recover more from termination than from completion comes the incentive to terminate: to search out and seize upon conduct able to be characterised as a repudiation with a view to making more out of engaging in the ensuing litigation than is available to be made out of completing the contract. Compounding the incentive for one contracting party to find conduct amounting to repudiation is a corresponding incentive for the counter-party to do whatever can be done to avoid it. The result "is to invert the normal interest of such a party regarding the other's contractual performance" (Kull, "Restitution as a Remedy for Breach of Contract" (1994) 67 *Southern California Law Review* 1465 at 1472):

> While the performing party's objective is to provoke a default, the recipient's goal is to safeguard a favorable bargain – avoiding the risk of default by excessive precautions and "overperformance". It is difficult to think of a clearer incentive to inefficiency in the contractual relation.

[90] The function of a common law remedy is to remediate an innocent party, not to penalise a defaulting party, and not to distort the incentive of either party to perform the contract. The policy of the common law demands that the problem of distorted contractual incentives be addressed.

[91] In my opinion, the problem is more appropriately addressed by limiting the measure of restitution than by denying the availability of the common law action for restitution. If the measure of the value of the services rendered by the innocent party is capped by reference to the contractually agreed remuneration for those services – the contract price – the distortion is substantially eliminated. …

[102] The common law rule should accordingly be that the amount recoverable on a non-contractual *quantum meruit* as remuneration for services rendered in performance of a contract prior to its termination by acceptance of a repudiation cannot exceed that portion of the contract price as is attributable to those services. Issues concerning the identification and appropriate method of

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apportionment of the contract price are best left to be addressed on a case by case basis if and when they arise.

[103] To the extent that they allowed recovery in excess of the contract price for the services rendered, *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234, *Iezzi Constructions Pty Ltd v Watkins Pacific (Qld) Pty Ltd* [1995] 2 Qd R 350 and *Sopov v Kane Constructions Pty Ltd [No 2]* (2009) 24 VR 510 were, in my opinion, wrongly decided.

…

[105] The preferable outcome, in my opinion, is accordingly that the Builder can recover from the Owners by way of restitution on a non-contractual *quantum meruit* an amount in respect of the work done by the Builder for which the Builder had accrued no contractual right to payment under the Contract at the time of its termination. The amount recoverable is a liquidated amount representing reasonable remuneration for the work. That amount cannot exceed the portion of the overall price set by the Contract that is attributable to the work.

[10.88] NETTLE, GORDON and EDELMAN JJ:

Application of s 38 of the DBC Act to variations

[Nettle, Gordon and Edelman JJ began by considering the third ground of appeal set out above, namely, whether the quantum meruit claim – in so far as it related to work done under variations to the building contract – was affected by the DBC Act, s 38. Section 38(6) of the DBC Act provided that, where the plans or specifications set out in a major domestic building contract are varied, a builder "is not entitled to recover any money in respect of the variation" unless, either, (1) certain notice procedures set out in s 38 had been followed, or (2) VCAT is satisfied as to certain matters (essentially that the builder would suffer significant hardship if not allowed to recover and it would not be unfair to the building owner to allow the builder to recover). VCAT had proceeded on the basis that the quantum meruit claim was not affected by s 38, and therefore did not consider the matters set out in s 38(6)(b). Nettle, Gordon and Edelman JJ found that the quantum meruit claim was governed by s 38 in so far as it related to work done under variations to the contract, and therefore held that the case should be remitted to VCAT for consideration of the matters set out in s 38(6).]

Recovery of restitution as an alternative to contractual remedies

[162] As s 38 has no application to that part of the respondent's claim that was not in respect of variations, it is next necessary to determine whether the respondent was entitled to recover restitution for a cause of action in the category of unjust enrichment (rather than for amounts due under the contract or damages for breach of contract) in relation to those aspects of its claim which were for work and labour done otherwise than in response to requested variations within the meaning of s 38.

…

(i) Restitution upon termination for breach

[164] Where a contract remains "open" – that is, "not discharged" (*Roxborough v Rothmans of Pall Mall Australia Ltd* (2001) 208 CLR 516 at 541 [67]; [2001] HCA 68) – there is generally "neither occasion nor legal justification for the law to superimpose or impute an obligation or promise to pay a reasonable remuneration" (*Pavey & Matthews* (1987) 162 CLR 221 at 256 …). Such an obligation or promise "would be either inconsistent with the contract or … would duplicate the contractual obligation" (*Pavey & Matthews* (1987) 162 CLR 221 at 238). But the position at law for contracts that are "closed", including, relevantly, those terminated for repudiation, is different.

[165] At least since the decision of Dixon J in *McDonald v Dennys Lascelles Ltd*, it has been accepted that, where a party to a contract elects to accept the other party's repudiation of the contract, both parties are released from contractual obligations which are not yet due for performance, but existing rights and causes of action continue unaffected (*Baltic Shipping Co v Dillon* (1993) 176 CLR 344 at 356, 390 …). Dixon J explained the position thus (*McDonald* (1933) 48 CLR 457 at 476–477, emphasis added):

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> When a party to a simple contract, upon a breach by the other contracting party of a condition of the contract, elects to treat the contract as no longer binding upon him, the contract is not rescinded as from the beginning. *Both parties are discharged from the further performance of the contract, but rights are not divested or discharged which have already been unconditionally acquired. Rights and obligations which arise from the partial execution of the contract and causes of action which have accrued from its breach alike continue unaffected.* When a contract is rescinded because of matters which affect its formation, as in the case of fraud, the parties are to be rehabilitated and restored, so far as may be, to the position they occupied before the contract was made. But when a contract, which is not void or voidable at law, or liable to be set aside in equity, is dissolved at the election of one party because the other has not observed an essential condition or has committed a breach going to its root, the contract is determined so far as it is executory only and the party in default is liable for damages for its breach. …

[166] As the law stands in Australia, as it does in England, New Zealand, Canada and the United States, upon termination for repudiation of an uncompleted contract containing an entire obligation (or, as will be seen, divisible stages) for work and labour done, the innocent party may sue either for damages for breach of contract or, at the innocent party's option, for restitution in respect of the value of services rendered under the contract (*Planché v Colburn* (1831) 1 Moo & S 51 … *Lodder v Slowey* [1904] AC 442; … *Renard Constructions* (1992) 26 NSWLR 234; *Iezzi Constructions* [1995] 2 Qd R 350; *Sopov v Kane* (2009) 24 VR 510. See Mason, Carter and Tolhurst, *Mason & Carter's Restitution Law in Australia*, 3rd ed (2016) at 482–487 [1166]-[1168]; Mitchell, Mitchell and Watterson (eds), *Goff & Jones: The Law of Unjust Enrichment*, 9th ed (2016) at 64 [3–36]; Grantham and Rickett, *Enrichment and Restitution in New Zealand* (2000) at 165–170; Maddaugh and McCamus, *The Law of Restitution*, 2nd ed (2004) at 586–600 [19:200]; American Law Institute, *Restatement of the Law Third, Restitution and Unjust Enrichment* (2011) §38).

[167] The availability of restitution, and the form of restitutionary remedy awarded, will depend on the type of enrichment alleged. (See generally Mason, Carter and Tolhurst, *Mason & Carter's Restitution Law in Australia*, 3rd ed (2016) at 15–16 [115], 1018–1023 [2908]-[2916]; Mitchell, Mitchell and Watterson (eds), *Goff & Jones: The Law of Unjust Enrichment*, 9th ed (2016) at 9–10 [1-13], 19–20 [1-36]; Birks, *Unjust Enrichment*, 2nd ed (2005) at 287; Burrows, *The Law of Restitution*, 3rd ed (2011) at 15–16.) Generally speaking, a personal restitutionary remedy will be assessed as money had and received where the alleged enrichment is the receipt of money; it will be assessed as upon a *quantum meruit* where the alleged enrichment is the receipt of services; and it will be assessed as upon a *quantum valebant* where the alleged enrichment is the receipt of goods. Where the alleged enrichment takes more than one form, such as the provision of money and services to a party, the other party is entitled to the money paid together with a reasonable sum for the services, subject, of course, to prohibitions against double recovery. (See *Cobbe v Yeoman's Row Management Ltd* [2008] 1 WLR 1752 at 1774 [42]-[44]. See also *Baltic Shipping* (1993) 176 CLR 344 at 354–355).

[168] The "qualifying or vitiating" (*Equuscorp* (2012) 246 CLR 498 at 516 [30], citing *David Securities Pty Ltd v Commonwealth Bank of Australia* (1992) 175 CLR 353 at 379) factor giving rise to a prima facie obligation on the part of the enriched party to make restitution is a total failure of consideration, or a total failure of a severable part of the consideration (*Steele* (1946) 72 CLR 386 at 401; *David Securities* (1992) 175 CLR 353 at 383; *Roxborough* (2001) 208 CLR 516 at 524–526 [14]-[17]). In this context, consideration means the matter considered in forming the decision to do the act: "the state of affairs contemplated as the basis or reason for the payment" (*David Securities* (1992) 175 CLR 353 at 382, quoting Birks, *An Introduction to the Law of Restitution* (1989) at 223). In many cases the relevant basis will be the benefit that is bargained for. In those cases, "[t]he test is whether or not the party claiming total failure of consideration has in fact received any part of the benefit bargained for under the contract or purported contract" (*David Securities* (1992) 175 CLR 353 at 382, quoting *Rover International Ltd v Cannon Film Sales Ltd* [1989] 1 WLR 912 at 923).

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[169] More specifically, a total failure of consideration for work done exists by reason of the termination of a contract for breach where the basis on which the work was done has failed to materialise or sustain itself (See *Roxborough* (2001) 208 CLR 516 at 525 [16], 556–557 [103]-[104]; *Equuscorp* (2012) 246 CLR 498 at 517–518 [31]-[33]; *Barnes v Eastenders Cash & Carry Plc* [2015] AC 1 at 42–43 [104]-[114]), and the total failure of consideration is seen as the occasion and part of the circumstances giving rise to the other party's obligation to make restitution to the extent of the fair value of that work. (See and compare *Pavey & Matthews* (1987) 162 CLR 221 at 256 per Deane J.) It is for that reason that no such obligation can arise while the obligation under which the benefit was conferred and accepted remains enforceable, open and capable of performance (*Steele* (1946) 72 CLR 386 at 402 per Dixon J. See *Trimis v Mina* (1999) 16 BCL 288 at 296 [54]); *Lumbers* (2008) 232 CLR 635 at 663).

[170] Where a contractor is only entitled to receive remuneration if the contract is wholly carried into effect, and the other party's wrongful repudiation of the contract has the effect of preventing the contractor from becoming entitled to receive remuneration for services already rendered, the contractor may, after electing to treat the contract as at an end, maintain an action to recover restitution as upon a *quantum meruit* for those services, instead of suing for damages (*Segur v Franklin* (1934) 34 SR (NSW) 67 at 72); *Horton v Jones [No 2]* (1939) 39 SR (NSW) 305 at 319. See also McFarlane and Stevens, "In Defence of *Sumpter v Hedges*" (2002) 118 *Law Quarterly Review* 569 at 578).

…

(ii) Entire obligations and divisible obligations

[172] It follows from what has been said that, where, under a contract for work and labour, a party is entitled to payment upon completion of *any* part of the work (which is to say that the obligation to complete that work is "infinitely divisible": *Steele* (1946) 72 CLR 386 at 401), where the contract expressly fixes a price for services, and where the contract is terminated by that party's acceptance of the other party's repudiation of it, the party so terminating the contract will have an accrued right to payment under the contract for that part of the work that has been done. There will have been no failure of consideration. Accordingly, that party's remedy in respect of that part of the work that has been done will generally be restricted to a claim for what has accrued due or damages for breach of contract (*Steele* (1946) 72 CLR 386 at 402; *Baltic Shipping* (1993) 176 CLR 344 at 350, 377. See also *Roxborough* (2001) 208 CLR 516 at 557–558 [106]) assessed by reference to the contract price less the cost of completing the work (see Edelman, *McGregor on Damages*, 20th ed (2018) at 979 [31-022]).

[173] By contrast, if the obligation to perform work and labour is "entire", so that nothing is due until all of the work has been completed by the contractor, then, upon termination of the contract by the contractor's acceptance of the other party's repudiation of it, there will be a total failure of consideration (see [168] above). Upon acceptance that the contract is repudiated, either by a renunciation or a manifested unwillingness or inability to perform the contract substantially according to the contract terms (*Koompahtoo Local Aboriginal Land Council v Sanpine Pty Ltd* (2007) 233 CLR 115 at 135–136 [44]; [2007] HCA 61), the contractor's right to complete the performance and earn the price will have failed, and thus nothing will be due under the contract for such part of the work as has been completed. In that event, the "consideration" – in the sense of the condition or the "basis" (*Roxborough* (2001) 208 CLR 516 at 525 [16], 557 [104]; *Equuscorp* (2012) 246 CLR 498 at 517 [31]; *Barnes* [2015] AC 1 at 42 [105]-[107]) for the performance by the contractor – will have failed, and restitution will lie as upon a *quantum meruit* in respect of work and labour done up to the point of termination. In those circumstances, there is a "qualifying or vitiating" factor, namely, a total failure of consideration, giving rise to a restitutionary remedy in the alternative.

[174] By further contrast, if the obligation to perform work is *divisible into several entire stages*, then, upon termination of the contract for repudiation: (i) the contractor so terminating the contract will have accrued rights under the contract for those stages that have been completed (see generally *Steele* (1946) 72 CLR 386 at 401; *David Securities* (1992) 175 CLR 353 at 383); (ii) there will be a

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total failure of consideration in respect of the stages that have not been completed, because the contractor's right to complete the performance and earn the price will have failed and nothing will be due under the contract in respect of those uncompleted stages; and (iii) restitution will lie as upon a *quantum meruit* in respect of the work and labour done towards completion of the uncompleted stages as an alternative to damages for breach of contract (see *David Securities* (1992) 175 CLR 353 at 383; *Goss v Chilcott* [1996] AC 788 at 797–798; *Roxborough* (2001) 208 CLR 516 at 526–527 [18]-[19], 558 [109]).

[175] The underlying principle concerning restitution of the value of work and labour where the basis for performance has failed is the same as that concerning restitution of money paid where the basis for the payment has failed. Hence, where a contract for the sale and delivery of a dozen bags of cement provides for the price in full to be paid in advance, and, at the point of termination of the contract by the purchaser's acceptance of the supplier's repudiation of it, only four bags have been delivered, the contract may be treated as severable as to the remaining eight bags and eight-twelfths of the price paid in advance recovered by way of restitution as money had and received as upon a total failure of consideration in relation to those eight bags (see *Whincup v Hughes* (1871) LR 6 CP 78 at 81).

[176] Generally speaking, a construction contract which is divided into stages, and under which the total contract price is apportioned between the stages by means of specified progress payments payable at the completion of each stage, is viewed as containing divisible obligations of performance (*GEC Marconi Systems Pty Ltd v BHP Information Technology Pty Ltd* (2003) 128 FCR 1 at 164–165 [704], [705], noting that in each case the question is one of construction. See also Furst and Ramsey, *Keating on Construction Contracts*, 10th ed (2016) at 85–86 [4-007]). In that event, where at the point of termination of the contract by the builder's acceptance of the principal's repudiation some stages of the contract have been completed, such that progress payments have accrued due in respect of those stages, there will be no total failure of consideration in respect of those stages. The builder will have no right of recovery in restitution in respect of those stages, and the builder's rights in respect of those completed stages will generally be limited to debt for recovery of the amounts accrued due or damages for breach of contract. But if there are any uncompleted stages, there will be a total failure of consideration in respect of those stages due to the failure of the builder's right to complete the performance and earn the price. In that event, there will be nothing due under the contract in relation to those stages, and restitution as upon a *quantum meruit* will lie in respect of work and labour done towards completion of those uncompleted stages.

[177] In this matter, it is apparent from the manner in which the Contract expressly provided for stages, and specified that progress payments were payable upon completion of each stage, that the obligation of performance under the Contract was divisible. Accordingly, for the reasons stated, the respondent's right to recovery in respect of the completed stages (other than for variations) was limited to the amount due under the Contract on completion of those stages or damages for breach of contract, and the respondent's right to recovery in respect of the uncompleted stages (other than for variations) was restricted to restitution for work and labour done in respect of those stages or damages for breach of contract.

[178] As the matter stands, it is not entirely clear which stages had been completed … It is another question which will need to be investigated upon remitter of the matter to VCAT.

[179] What can be said for present purposes, however, is that, as matters stand, it appears that there was at least one stage as specified in the Contract which was *not* complete as at the time of termination. If so, the respondent may have a claim for restitution of the value of work and labour done towards completion of that stage. But, to repeat, to the extent that there were stages which had been completed at the time of termination, so that the right to progress payments payable in respect of those stages had accrued, the respondent had *no* right to restitution in respect of work comprised in those stages. The respondent's rights of recovery in respect of those stages are limited to the respondent's rights under the Contract for the progress payments payable in respect of those stages or damages for breach of contract.

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(iii) History of restitutionary relief

[Their Honours explored the history of the quantum meruit action and the development of the idea that a contract terminated for breach is terminated *de futuro* (as to the future), and not *ab initio* (from the beginning), and continued as follows.]

[188] … [I]t is now recognised that restitutionary obligations are imposed by operation of law in response to circumstances including the retention of a benefit received on a basis which has totally failed to materialise. Of course, as has been observed (see [169] above), it is still the case that no such obligation can arise while the reciprocal obligation for which the benefit was conferred and accepted remains enforceable, open and capable of performance. But circumstances other than the unenforceability or avoidance of a contract *ab initio*, including frustration and termination, may provide the occasion for, and form part of the circumstances giving rise to, an obligation to pay what is reasonable.

[189] The position which arises upon frustration of a contract is therefore instructive. Under the rule in *Taylor v Caldwell* (1863) 3 B & S 826; 122 ER 309 it was once the law that, where an entire obligation to perform work and labour became impossible of performance before completion of the work, both parties were excused from further performance of the contract and neither party had any right of recovery in respect of that part of the work which had been completed or moneys paid in anticipation of its completion. (See … *Chandler v Webster* [1904] 1 KB 493 at 499 …). That changed with the decision of the House of Lords in *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 … See *Baltic Shipping* (1993) 176 CLR 344 at 356), which recognised that it is not necessary that the contract be "wiped out altogether" in order to attract restitutionary relief. As Viscount Simon LC stated (*Fibrosa* [1943] AC 32, 47-48), where moneys are paid to secure performance of a result, and performance becomes impossible, there is a total failure of consideration in respect of moneys paid because the inducement which brought about the payment is not fulfilled. The same applies to the frustration of a contract for the provision of services. There is a total failure of consideration for the provision of the services where "the state of affairs contemplated as the basis or reason for the [services] has failed to materialise or, if it did exist, has failed to sustain itself" (*Barnes* [2015] AC 1 at 42 [107]-[108], quoting Birks, *An Introduction to the Law of Restitution* (1989) at 223. See [188] above).

[190] Principle, coherence and authority dictate that the position in relation to a contract terminated for repudiation be the same. Although it was once thought that the innocent party's right to recover reasonable remuneration for the work done up to the point of termination depended on the notion that termination avoided the contract *ab initio* – thereby leaving the way clear to imply a quasi-contractual obligation on the part of the other party to pay reasonable remuneration for that work – now it is recognised that there may be a total failure of consideration for the work so done because, by reason of the termination, the basis on which the work was done has failed to materialise or sustain itself, and that total failure of consideration is seen as the occasion and part of the circumstances giving rise to the other party's obligation to make restitution to the extent of the fair value of that work.

…

[192] Essentially, the arguments against retention of the alternative restitutionary remedy conduce to two principal propositions. The first is that, where a contract is terminated for breach after the innocent party has partially completed the work for which the contract provides, the proper characterisation of the basis or condition on which the work was performed can only ever be the other party's promise to perform the contract (as opposed to the objective basis of the other party's performance of it), and, because the promise is enforceable by an action for damages, there is no failure of consideration. (See, eg, McLure, "Failure of Consideration and the Boundaries of Restitution and Contract", in Degeling and Edelman (eds), *Unjust Enrichment in Commercial Law* (2008) 209 at 211–215; Raghavan, "Failure of Consideration as a Basis for *Quantum Meruit* following a Repudiatory Breach of Contract" (2016) 42 *Monash University Law Review* 179 at 186–187, 197.) The second is

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that, if it is correct to characterise the basis or condition on which the work has been undertaken as being the other party's performance of that party's contractual obligations (as opposed to being limited to that party's promise to perform them), the other party's failure to perform them yields a contractual remedy which is appropriate and adequate to put the innocent party in the position in which he or she would have been if the contract had been performed; and, therefore, there is no need or justification for the imposition of an alternative restitutionary remedy. (See, eg, Beatson, "The Temptation of Elegance: Concurrence of Restitutionary and Contractual Claims", in Swadling and Jones (eds), *The Search for Principle: Essays in Honour of Lord Goff of Chieveley* (1999) 143 at 151–152; Jaffey, "Restitutionary Remedies in the Contractual Context" (2013) 76 *Modern Law Review* 429 at 440–441; Havelock, "A Taxonomic Approach to Quantum Meruit" (2016) 132 *Law Quarterly Review* 470 at 481.)

[193] The first proposition is at odds with long-accepted learning in England and in this country and should be rejected. (See *Fibrosa* [1943] AC 32 at 48–49, 72; *David Securities* (1992) 175 CLR 353 at 382; *Baltic Shipping* (1993) 176 CLR 344 at 350–351, 376, 389. See also Havelock, "A Taxonomic Approach to Quantum Meruit" (2016) 132 *Law Quarterly Review* 470 at 490–492.) As Viscount Simon LC stated in *Fibrosa* [1943] AC 32 at 48:

> In English law, an enforceable contract may be formed by an exchange of a promise for a promise, or by the exchange of a promise for an act – I am excluding contracts under seal – and thus, in the law relating to the formation of contract, the promise to do a thing may often be the consideration, but when one is considering the law of failure of consideration and of the quasi-contractual right to recover money on that ground, it is, generally speaking, not the promise which is referred to as the consideration, but the performance of the promise. The money was paid to secure performance and, if performance fails the inducement which brought about the payment is not fulfilled.
>
> If this were not so, there could never be any recovery of money, for failure of consideration, by the payer of the money in return for a promise of future performance, yet there are endless examples which show that money can be recovered, as for a complete failure of consideration, in cases where the promise was given but could not be fulfilled.

[194] The first proposition should also be rejected for the reason that it is premised on a misconception that an obligation to pay damages for breach of contract is an obligation imposed by the contract as such, which reflects the bargain struck between the parties and which survives termination like a debt due under the contract.

[195] Traditionally, the remedial obligation to pay damages for breach of contract has been understood as an obligation "arising by operation of law" (*Concut Pty Ltd v Worrell* (2000) 75 ALJR 312 at 317 [23]). Whether or not there is any role for the objective or manifested intention of the parties in ascertaining boundaries of liability in an award of damages (see and compare *Transfield Shipping Inc v Mercator Shipping Inc* [2009] AC 61 at 68 [12] per Lord Hoffmann. See also Robertson, "The Basis of the Remoteness Rule in Contract" (2008) 28 *Legal Studies* 172; Lawson, "The Remoteness Rules in Contract: Holmes, Hoffmann, and Ships that Pass in the Night" (2012) 23 *King's Law Journal* 1; Edelman and Bourke, "F W Guest Memorial Lecture 2017: *Hadley v Baxendale*" (2018) 15(2) *Otago Law Review* 1; Edelman, *McGregor on Damages*, 20th ed (2018) at 196–197 [8-172]-[8-173]), the proposition that the award of damages is somehow a product of the agreement of the parties as an alternative to performance is not easily reconciled with several established notions at law and in equity, including the normative principles which govern the quantification of damages (see *Wenham v Ella* (1972) 127 CLR 454 at 466–467; *Johnson v Perez* (1988) 166 CLR 351 at 356) and the grant of specific performance and injunctions on the basis that damages are an "inadequate" remedy (see *J C Williamson Ltd v Lukey and Mulholland* (1931) 45 CLR 282 at 298; *Dougan v Ley* (1946) 71 CLR 142 at 150.) The parties contract for performance, not damages. In short, as Windeyer J said in *Coulls v Bagot's Executor and Trustee Co Ltd* (1967) 119 CLR 460 at 504, "[i]t is … a faulty analysis of legal obligations to say that the law treats a promisor as having a right to elect either to perform his promise

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or to pay damages. Rather … the promisee has 'a legal right to the performance of the contract'." (See also *Zhu v Treasurer of New South Wales* (2004) 218 CLR 530 at 574-575 [128]; [2004] HCA 56.)

[198] Theoretically, the second proposition has more to commend it. Arguably, the latter-day developments of the implied contractual obligation of cooperation and the doctrine of anticipatory breach have so much ameliorated the injustice which spawned the quasi-contractual remedy of *quantum meruit* for work and labour done that a restitutionary remedy is no longer necessary to alleviate the unjust enrichment of the recipient of the benefit of it. But the remedy is one of considerable practical value. A claim for restitution is a liquidated demand which, by contrast to an unliquidated claim for damages, may provide easier and quicker recovery including by way of summary judgment. And as Leeming JA observed in *Fistar v Riverwood Legion and Community Club Ltd* (2016) 91 NSWLR 732 at 743 [48] …), "there is nothing foreign to the Australian legal system in a plaintiff having alternative claims arising out of the same facts". (See also *Barclays Bank Ltd v Quistclose Investments Ltd* [1970] AC 567 at 581.) Further, as *United Australia Ltd v Barclays Bank Ltd* [1941] AC 1 shows, the law has mechanisms for deciding when a plaintiff becomes committed to one rather than the other remedy. The doctrine of election between remedies sits in the wider framework of election and inconsistency which Stephen J considered in *Sargent v ASL Developments Ltd* (1974) 131 CLR 634 at 641–642.

[199] Moreover, as Gummow J was at pains to point out in *Roxborough v Rothmans of Pall Mall Australia Ltd* (2001) 208 CLR 516 at 544 [72]-[73] (see also Windeyer, *Lectures on Legal History*, 2nd ed (rev) (1957) at 5), ours is not a system in which the theory of unjust enrichment comes first and decisions must then be made to comply with it. It is a common law system of *stare decisis* that develops over time and through which general principle is derived from judicial decisions. (See also *Breen v Williams* (1996) 186 CLR 71 at 115; *D'Arcy v Myriad Genetics Inc* (2015) 258 CLR 334 at 350 [26]; [2015] HCA 35.) Unjust enrichment may be conceived of as a "unifying legal concept" (*Pavey & Matthews* (1987) 162 CLR 221 at 256–257; *David Securities* (1992) 175 CLR 353 at 375; *Lumbers* (2008) 232 CLR 635 at 665 [85]) which serves a "taxonomical function" (*Equuscorp* (2012) 246 CLR 498 at 516 [30]; *AFSL* (2014) 253 CLR 560 at 579 [20], 618 [138]) that assists in understanding why the law recognises an obligation to make restitution in particular circumstances. But it is in no sense an all-embracing theory of restitutionary rights and remedies pursuant to which existing decisions are to be accepted or rejected by reference to the extent of their compliance with its proportions (*Roxborough* (2001) 208 CLR 516 at 543 [70], quoting Finn, "Equitable Doctrine and Discretion in Remedies", in Cornish et al (eds), *Restitution: Past, Present and Future* (1998) 251 at 251–252). Consequently, where a doctrine of the common law has grown up over several centuries – as has the availability of restitutionary relief for work and labour done under a partially completed entire obligation following termination of a contract for breach – and the doctrine remains principled and coherent, widely accepted and applied in kindred jurisdictions, it can hardly be regarded as a sufficient basis to discard it that some of the conceptions which historically informed its gestation have since changed or developed over time (See and compare Holmes, *The Common Law* (1881) at 5; *Windeyer, Lectures on Legal History*, 2nd ed (rev) (1957) at 109). Whatever doubts might remain about the theoretical underpinnings of the doctrine by reason of the problematic nature of its origins or subsequent developments in the law of contract, it is too late now for this Court unilaterally to abrogate the coherent rule simply in order to bring about what is said to be a greater sense of theoretical order to the range of common law remedies.

The contract price as a limitation on the sum recoverable

…

[204] … [W]here the claim is founded on an obligation to pay for services rendered under a contract which is unenforceable, it has been held that "[o]rdinarily" the measure of restitution "will correspond to the fair value of the benefit provided (eg remuneration calculated at a reasonable rate for work actually done or the fair market value of materials supplied)" (*Pavey & Matthews* (1987) 162 CLR 221 at 263). Prices stated in the contract are regarded as relevant, but they remain "evidence only, on the question of amount". (See … *Pavey & Matthews* (1987) 162 CLR 221 at 236-238, 250, 252, 257, 267-268.) That approach is informed by a legal concern that direct application of the

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contract price would risk incoherence with the policy of the law rendering the contract unenforceable, although this will always require consideration of that policy. As Mason and Wilson JJ noted in *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221 at 228:

> If the effect of bringing an action on a quantum meruit was simply to enforce the oral contract in some circumstances only, though not in all the circumstances in which an action on the contract would succeed, it might be persuasively contended that the action on a quantum meruit was an indirect means of enforcing the oral contract.

[205] By contrast, where a contract is enforceable, but terminated for repudiation, there are no reasons of practicality and few in principle to eschew the contract price. It has been said that "[t]he defendant cannot refuse to abide by the contract and at the same time claim its protection" against the innocent plaintiff (Lord, *Williston on Contracts*, 4th ed (2003), vol 26, §68:41 at 475). But, as has been seen (see [165] above), where a contract is terminated for breach, it continues to apply to acts done up to the point of termination, and it remains the basis on which the work was done. There is, therefore, nothing about the termination of the contract as such that is inconsistent with the assessment of restitution by reference to the contract price for acts done prior to termination. The contract price reflects the parties' agreed allocation of risk. (See Mason, Carter and Tolhurst, *Mason & Carter's Restitution Law in Australia*, 3rd ed (2016) at 610 [1430]). Termination of the contract provides no reason to disrespect that allocation. Granted, there may be difficult questions of apportionment of the contract price, such as where performance of a small part of the entire obligation is the most valuable part of the contractor's work. (See, eg, *Whincup v Hughes* (1871) LR 6 CP 78 at 81.) There may also be difficult questions in identifying the contract price, such as where the expected benefits to the contractor include not only payments of money but also the value of promises or releases. But such difficulties of valuation and apportionment have long been encountered in other areas. (See, eg, *Attwood v Maude* (1868) LR 3 Ch App 369.)

[Their Honours discussed the acceptance by the English courts of the concept of "subjective devaluation" by which "because of 'the fundamental need to protect a defendant's autonomy', a defendant would be "entitled to prove that he valued the relevant services (or goods) provided by the claimant at less than the market value' " (at [208], quoting *Benedetti v Sawiris* [2014] AC 938 at 957 [18]). They continued discussing the judgments in that case as follows.]

[210] Lord Neuberger of Abbotsbury PSC, although not expressing a concluded view on the subject, stated [2014] AC 938 at 1006 [187], 1007–1008 [191]-[192] as follows:

> In my view, it may well be that, in some cases of unjust enrichment, subjective devaluation could be invoked by a defendant to justify the award of a smaller sum than that which would be prima facie payable …
>
> [I]t may often be unreasonable for a claimant to claim a market-based payment … where there have been prior discussions and the defendant has indicated that he would not be prepared to pay as much as the market price for the benefit.
>
> It would seem wrong … for the claimant to be better off as a result of the law coming to his rescue, as it were, by permitting him to invoke unjust enrichment, than he would have been if he had had the benefit of a legally enforceable contractual claim for a quantified sum.

[211] Their Lordships' observations in *Benedetti* accord with the contention in Mitchell, Mitchell and Watterson (eds), *Goff & Jones: The Law of Unjust Enrichment*, 9th ed (2016) at 51 [3-10], 53–54 [3-16]-[3-17], 71-72 [3-52]-[3-54], and the contentions of other leading academic writers to similar effect (Virgo, *The Principles of the Law of Restitution*, 3rd ed (2015) at 99-102; Edelman and Bant, *Unjust Enrichment*, 2nd ed (2016) at 84, 141–151; Mason, Carter and Tolhurst, *Mason & Carter's Restitution Law in Australia*, 3rd ed (2016) at 95–96 [215], 609-610 [1430]; Furst and Ramsey, *Keating on Construction Contracts*, 10th ed (2016) at 283-284 [9-062]), that the law of restitution should respect the contracting parties' allocation of risk. In that regard, the learned editors of *Goff & Jones*

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(Mitchell, Mitchell and Watterson (eds), *Goff & Jones: The Law of Unjust Enrichment*, 9th ed (2016) at 71-72 [3-54]) state that:

> this is not indirectly to enforce the terms of a contract that has been terminated; rather, it is a reflection of the fact that the ground of recovery is failure of basis, and the parties have agreed what the basis of the transfer is to be. The contract price implicitly allocates certain risks to the supplier of the goods or services, such as the risk that the market value of the goods or services will increase before performance, and the risk that the goods or services prove to be more costly to supply than the supplier had anticipated. Allowing a supplier bringing an action in unjust enrichment to recover more than the contract price for any goods or services supplied under the contract would clearly reallocate those risks to the purchaser.

[212] Until recently, one view of English restitutionary jurisprudence was to treat the concept of unjust enrichment as if it were a definitive legal principle that supplies a sufficient premise for direct application by rigid, uniform application of questions concerning whether there is (1) an enrichment, (2) at the plaintiff's expense, (3) in circumstances of an unjust factor, and (4) subject to defences. (See, eg, *Banque Financière de la Cité v Parc (Battersea) Ltd* [1999] 1 AC 221 at 227, 234; *Benedetti* [2014] AC 938 at 955 [10]; *Menelaou v Bank of Cyprus Plc* [2016] AC 176 at 187 [18], 197 [61]. See Mitchell, Mitchell and Watterson (eds), *Goff & Jones: The Law of Unjust Enrichment*, 9th ed (2016) at 8 [1-09].) Within that rigid approach, there was something of a tendency to treat tests for and measures of "enrichment" as governed by a single principle; thus encouraging a view of the benefit abstracted from the contract price. (See, eg, Birks, *An Introduction to the Law of Restitution* (1989) at 116–117.) More recently, some members of the Supreme Court of the United Kingdom have cautioned against mechanical application of the "four questions" of enrichment, expense, injustice and defences. (See, eg, *Investment Trust Companies v Revenue and Customs Commissioners* [2018] AC 275 at 295 [40]-[42].) In *Swynson Ltd v Lowick Rose Llp* [2018] AC 313 at 326 [22], Lord Sumption JSC (Lord Neuberger PSC, Lord Clarke and Lord Hodge JJSC agreeing) denied that English law had a universal theory which explains all of the cases in which restitution is available. In view of those developments, it may be that the law of restitution in the United Kingdom and the law of restitution in Australia are no longer quite as far apart as was previously imagined.

[213] Whether or not that is so, however, in this country restitution arises in recognised categories of case and is not necessarily available whenever, and to the extent that, a defendant is enriched at the plaintiff's expense in circumstances that render the enrichment unjust (*David Securities* (1992) 175 CLR 353 at 378–379; *AFSL* (2014) 253 CLR 560 at 595 [73]-[74], 618 [139]). Although, over time, novel categories of case may come to be recognised, or existing categories refined, that must occur in accordance with the common law's ordinary process of incremental development: by analogy with decided cases, albeit that, within that process of development and refinement, the four questions may serve to focus attention on the nature, availability and measure of restitutionary relief, and so assist in structuring understanding as to avoid the development of the law of unjust enrichment degenerating into an exercise in idiosyncratic discretion.

[214] Accordingly, in this country, it has not been found necessary to resort to a generalised approach of so-called subjective devaluation and, at least to that extent, what was held in *Benedetti* is incapable of direct application. But the concerns which inform the analysis in *Benedetti* are just as relevant here as they are in England. For just as a contract may inform the scope of fiduciary and other equitable duties (see, eg, *Hospital Products Ltd v United States Surgical Corporation* (1984) 156 CLR 41 at 97; *Bofinger v Kingsway Group Ltd* (2009) 239 CLR 269 at 291 [52]; *Friend v Brooker* (2009) 239 CLR 129 at 150–151 [47]; [2009] HCA 21), the price at which a defendant has agreed to accept the work comprising an entire obligation is logically significant to the amount of restitution necessary to ensure that the defendant's retention of the benefit of that work is not unjust and unconscionable. In point of principle, deference to contract as a reflection of parties' agreed allocation of risk is at least as appropriate in Australia as it is in England. (See and compare *Lumbers* (2008) 232 CLR 635 at 662–663 [78]-[79])

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[215] As has been seen, the decision of the Supreme Court of the United Kingdom in *Benedetti* did not go so far as to make the contract price the limit of restitutionary recovery. Although supportive of the conclusion that the amount to be allowed by way of restitution should not ordinarily exceed the contract price, it leaves open the possibility of exception. It is appropriate that this Court adopt a similar approach. It is consistent with the Australian understanding of restitutionary remedies that a contract, although discharged, should inform the content of the defendant's obligation in conscience to make restitution where the failed basis upon which the work and labour was performed was the contractor's right to complete the performance and earn the price according to the terms of the contract. It is, therefore, appropriate to recognise that, where an entire obligation (or entire divisible stage of a contract) for work and labour (such as, for example, an entire obligation under or an obligation under a divisible stage of a domestic building contract) is terminated by the plaintiff upon the plaintiff's acceptance of the defendant's repudiation of the contract, the amount of restitution recoverable as upon a *quantum meruit* by the plaintiff for work performed as part of the entire obligation (or as part of the entire divisible stage of the contract) should prima facie not exceed a fair value calculated in accordance with the contract price or appropriate part of the contract price.

[216] So to recognise does not exclude the possibility of cases where, in accordance with principle, the circumstances will dictate that it would be unconscionable to confine the plaintiff to the contractual measure. One such possibility is arguably afforded by the infamous case of *Boomer v Muir* (1933) 24 P 2d 570, which has been explained on the basis of the defendant's continuing breaches being responsible for a cost overrun that rendered the contract unprofitable. (See Cohen, "The Fault Lines in Contract Damages" (1994) 80 *Virginia Law Review* 1225 at 1304-1305; Gergen, "Restitution as a Bridge Over Troubled Contractual Waters" (2002) 71 *Fordham Law Review* 709 at 711-712. See and compare Andersen, "The Restoration Interest and Damages for Breach of Contract" (1994) 53 *Maryland Law Review* 1 at 22–26.) As Dooling J observed in that case, the question whether the plaintiff could recover in excess of the contract price "depends upon whether it is equitable to permit" the plaintiff to depart from the pricing structure agreed with the defendant: (1933) 24 P 2d 570 at 576. Nonetheless, as Lord Neuberger of Abbotsbury PSC observed in *Benedetti* [2014] AC 938 at 1007-1008 [192], in many such cases it would appear wrong that a claimant should be entitled to a better result in restitution than would have been available to him or her under contract.

[217] In this matter, it was not suggested that there are circumstances sufficient to warrant departure from the prima facie position that a claimant should not achieve a better result by way of restitution than under the contract. It follows that VCAT was in error in assessing the amount of restitution otherwise than in accordance with the contract rates. Ground 2 should be upheld.

[222] It follows that the appeal should be allowed with costs … and the matter be remitted to VCAT for further determination according to law.

[KIEFEL CJ, BELL and KEANE JJ delivered a joint judgment in which they held that a restitutionary quantum meruit claim was not available to the builder, who was only entitled to damages for breach of contract. Their Honours held that the idea that following termination for breach the aggrieved party can chose between contract damages and a restitutionary remedy was based on the "rescission fallacy" (ie, the misconception that termination for breach renders a contract void from the beginning rather than prospectively from the date of termination). Moreover, their Honours held, allowing a restitutionary claim in these circumstances was unnecessary and would subvert the contractual allocation of risk. In view of their conclusion as to the availability of a restitutionary claim, it was unnecessary for their Honours to address the second ground of appeal (ie, whether the contract price operated as a ceiling on a restitutionary award). In relation to the third ground of appeal, KIEFEL CJ, BELL and KEANE JJ agreed with NETTLE, GORDON and EDELMAN JJ.]

Appeal allowed.

COMPULSION

TA Sundell & Sons v Emm Yannoulatos (Overseas)

[10.90] *TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd* (1956) 56 SR (NSW) 323 (Supreme Court of New South Wales, Full Court) – Appeal from Kinsella J.

[FACTS: The *appellant* entered into a contract to sell to the *respondent* galvanized iron of French origin at £109 15s per ton. In accordance with the contract the respondent established a letter of credit in favour of the appellant. Four months later the appellant wrote to the respondent that owing to "fantastic rises in the price of zinc" in France "a price increase is inevitable"; that an increase of £27 per ton was likely; and that the amount of the letter of credit should be increased by the respondent accordingly. On 17 April 1951 the appellant made it clear that if it did not increase its price it would lose the iron, and that it was entitled to pass on the increase because an importer is merely obtaining material for its customer, and that the respondent should also pass it on. The appellant declined to accept an order from the respondent at the increased price, stated to be without prejudice to any rights the respondent had. Finally, Sundell, who was representing the respondent, said he would increase the credit, and the next day the credit was increased. However, the respondent in sending a formal order at £140 per ton stated that it did so for the purpose of obtaining the iron and claimed the right to rely upon the original agreement of £109 15s per ton. The appellant acknowledged this but did not accept it. Later the appellant informed the respondent that the iron had been shipped and the respondent wrote asserting that the letter of credit had been increased without prejudice to its rights. In due course the iron arrived in Australia and was delivered to the respondent, and the appellant collected the full amount under the letter of credit. The respondent sued to recover the amount in excess of the price originally agreed, and succeeded at first instance. The appellant appealed.]

ROPER CJ IN EQ, HARDIE J and MANNING AJ: [326] (T)he respondent asserted that the original contract had never been varied or determined, that the original price had been paid under protest, and that such payment was not voluntary in the sense that it was made in circumstances which have been variously described as under "duress" or "compulsion".

There is no doubt that the respondent urgently required the iron to carry out its commitments and that the arrangement made in April 1951 was made by it under a threat that if it failed to do as it was required to do no iron at all would be delivered. It was by virtue of this threat that the letter of credit was increased and the funds thus provided which enabled the appellant to obtain payment …

[T]he appellant argued that at a time when the appellant did not have the goods, it was made clear that it did not intend to perform the contract because it could get the goods from France only at a greatly increased price; that this amounted to a repudiation of the original contract; that the respondent was then entitled to elect whether to treat the contract as at an end or to treat it as continuing; that the respondent was most desirous of getting delivery of the goods; that a new contract was then entered into which determined the rights and liabilities of the parties under the original contract and that this new contract bound the appellant to supply the same goods but at an increased price; and that the consideration which the appellant gave for the respondent's promise to pay the increased price was that it would do certain things in France which would result in [327] the goods coming forward. It was said that this gave the respondent something more than it previously had. Originally it was left merely with an action for damages. Under the new agreement it would almost certainly get the goods.

We are satisfied that Mr Sundell's promise made on 17 April 1951 that he would increase the amount of the letter of credit and extend the period of its currency, amounted to no more than a promise to provide sufficient funds to enable payment to be made for the goods to the French manufacturer and that any increased price would be payable by his company only if it was ascertained that the appellant was entitled to payment of such increase … But even if such a promise was made as alleged, we are of opinion that it was not binding because there was no consideration for it … In our view every promise allegedly given to the plaintiff by the defendant under the so-called second agreement was identical with a promise given under the original agreement.

TA Sundell & Sons v Emm Yannoulatos (Overseas) cont.

One person cannot by any promise or performance which does not go beyond the limits of his pre-existing legal duty to another person provide a new consideration for a promise by that other person in his favour. In contemplation of law it is no detriment to a party merely to perform, and no promise of detriment merely to promise to perform what is already his legal duty to the other party to the alleged contract.

Accordingly we are of opinion that the original contract at all relevant times remained in force and that it was never varied or superseded by what was alleged to have been a new contract.

The second question is within a comparatively narrow compass. [The appellant argued] that the cases relating to the circumstances in which a payment will be said to be made "under compulsion" are limited and should not be extended, and that these cases include instances where the payee has been under a statutory duty; where he has been in possession of the payer's goods; where he has held the legal title to land of which the payer was the equitable owner; and other cases where the "compulsion" was exercised in relation to the property of the payer. But, so the argument went, the principle has never been applied [328] to a case where a compulsive threat has been made to refrain from performing merely a contractual duty as distinct from a threat to refrain from performing a statutory duty or a threat to interfere with a proprietary right of the payer. And it was said that to treat a threat to refrain from performing a contractual duty as a sufficient "compulsion", would be to break new ground, and to extend the principle in this way would be contrary to the rule laid down by Lord Sumner in *Sinclair v Brougham* [1914] AC 398, 453 and adopted by Knox CJ in *Smith v William Charlick Ltd* (1924) 34 CLR 38, 51.

In the first place we are of opinion that the statements in the cases on which the appellant seeks to rely do not justify his contention. The authorities were reviewed by Long Innes J in *Nixon v Furphy* (1925) 25 SR (NSW) 151, 160 and his Honour said:

> "Compulsion" in relation to a payment of which refund is sought … includes every species of duress or conduct analogous to duress, actual or threatened, exerted by or on behalf of the payee and applied to the person or the property or any right of the person who pays or, in some cases, of a person related to or in affinity with him.

This statement is in substance to the same effect as the opinion expressed by Fullagar J in *Re Hooper and Grass' Contract* (1940) VLR 269. Furthermore, it was adopted by Rich J in *White Rose Flour Milling Co Pty Ltd v Australian Wheat Board* (1944) 18 ALJ 324 and applied to a similar type of case to that now under consideration …

In our opinion the appeal should be dismissed with costs.

Appeal dismissed.

[10.95] Note

The view expressed in the principal case that a promise to perform an existing contractual duty by one party cannot be good consideration for a promise by the other party to the contract must now be considered in the light of *Musumeci v Winadell Pty Ltd* (1994) 34 NSWLR 723, extracted at [4.125].

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PART IV

CHAPTER **11**

Privity

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[11.05] The privity rule stipulates that only a person who is a party to a contract can enforce the contract and incur obligations under it. There are two aspects to the doctrine: a contract cannot confer an *enforceable* benefit on a non-party, nor can it impose an enforceable *burden* on a non-party. This chapter will focus on the benefit aspect of the rule. The privity rule is separate from the rule that consideration must move from the promisee. Accordingly, a person who wishes to enforce a contract must establish that he or she (a) is a party to (ie, privy to) the contract, and (b) has provided consideration (see Chapter 4).

The doctrine of privity is often regarded as having been established by the case of *Tweddle v Atkinson* (1861) 1 B & S 393; 121 ER 762. It was, in any event, approved by the High Court of Australia in *Coulls v Bagot's Executor & Trustee Co Ltd* (1967) 119 CLR 460 and *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* (1956) 95 CLR 43. In *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107 at [11.60], the High Court re-examined the doctrine at some length in six separate and varying judgments.

The rule that a contract cannot confer an *enforceable* benefit on a third party does have its supporters, but is generally seen by most as an unsatisfactory rule. The High Court of Australia and the Supreme Court of Canada have recognised exceptions to the rule. European civil codes generally allow contracts to confer enforceable benefits on third parties, as does the common law and statute in the United States. England and the Northern Territory have followed Queensland, Western Australia and New Zealand in enacting legislation to allow third parties in certain circumstances to sue on contracts made for their benefit (see [11.95]).

The unsatisfactory nature of the rule is illustrated by three examples:

1. If A and B enter into a contract under which A promises B (for consideration) to pay $1,000 to C, and A fails to honour this promise, C has no right to sue A to recover the money.
2. If A and B enter into a contract under which A promises B (for consideration) to perform building work for C, and A fails to honour this promise, C cannot sue A for breach of contract.
3. If A and B enter into a contract which includes a term that A cannot sue C if C incurs liability to A, C nonetheless has no *defence* if A sues C in respect of liability incurred.

By way of criticism, it is said that the result in each of these examples is inconsistent with the intentions of A and B and the expectations of C. There are, however, a number of ways in which C may obtain relief, directly or indirectly.

First, the *contracting party* may enforce the contract. In example (1), B may be able to obtain a decree of specific performance ordering A to pay C the promised $1,000. In example (2), a decree of specific performance will not be available (see Chapter 30), so B can only obtain damages. A question then arises as to whether B can obtain substantial (as distinct from nominal) damages, if B (as distinct from C) has suffered no loss.

Secondly, it might be possible to argue that the privity doctrine has no application. The apparent non-party C may be able to claim that despite appearances she was in fact a party to the contract by virtue of the doctrine of agency: B as agent for C entered the contract with A. If this is the case, then C was in fact B's "principal", possibly even a principal whose existence was not disclosed to A. The doctrine of agency has been invoked particularly in the context of limitation of liability clauses in contracts for the carriage of goods by sea: see *Port Jackson Stevedoring Pty Ltd v Salmond and Spraggon (Aust) Pty Ltd* (1978) 139 CLR 231 at [11.35].

Thirdly, C may be able to establish that in respect of the contract between A and B, B was acting as a "trustee" for C. If so, C can compel B to enforce the contract by proceedings in equity. (See the discussion of the trust concept in *Trident General Insurance Co v McNiece Bros Pty Ltd* (1988) 165 CLR 107 at [11.60]–[11.85].)

Fourthly, C may be able to establish an estoppel against B if B has led C to believe that:

- C would have enforceable rights against B; or
- B would perform a certain promise

and C has relied on that assumption in such a way that she would suffer detriment if B were allowed to act inconsistently with the assumption (see the discussion in *Trident v McNiece* at [11.60]–[11.85]).

Fifthly, if C can establish that B's conduct in making the contract was misleading or deceptive, C may be able to claim damages under the *Australian Consumer Law*; see *Accounting Systems 2000 (Developments) Pty Ltd v CCH Australia Ltd* (1993) 42 FCR 470 at [33.150].

IDENTIFYING THE CONTRACTING PARTIES

Coulls v Bagot's Executor & Trustee

[11.10] *Coulls v Bagot's Executor & Trustee Co Ltd* (1967) 119 CLR 460 (High Court of Australia) – Appeal from the Supreme Court of South Australia.

[FACTS: A written agreement provided as follows:

Agreement between Arthur Leopold Coulls and O'Neil Construction Proprietary Limited.

In consideration of the sum of £5 I Arthur Leopold Coulls, Anstey's Hill, Highbury East, give to O'Neil Construction Proprietary Ltd the sole right to quarry and remove stone from an area of approximately 50 acres (fifty acres) situated around blue dolomite hill near homestead of original Newman's Nursery. The approximate 50 acres is detailed in attached map ….

O'Neil Construction Proprietary Ltd agrees to pay at the rate of 3d per ton for all stone quarried and sold, also a fixed minimum royalty of £12 per week for a period of ten (10) years with an option of another ten (10) years at above basis (£12 per week minimum) ….

Coulls v Bagot's Executor & Trustee cont.

> I authorise the above Company to pay all money connected with this agreement to my wife, Doris Sophia Coulls and myself, Arthur Leopold Coulls as joint tenants (or tenants-in-common?) (the one which goes to living partner).

The agreement was signed by Arthur Coulls, Doris Coulls and L O'Neil who signed on behalf of the company. It was prepared without professional assistance. When Arthur Coulls died, the question arose as to whether Doris Coulls or Arthur Coulls' estate was entitled to the royalties. Arthur Coulls' two children from a previous marriage stood to benefit if the royalties formed part of his estate. His executors (Bagot's) sought the guidance of the Supreme Court of South Australia on several questions arising out of the agreement. The relevant questions were as follows:

(1) Is O'Neil Construction Pty Ltd entitled or bound to pay the royalties payable under the said agreement to Bagot's?

(2) Is O'Neil Construction Pty Ltd entitled or bound to pay the royalties payable under the said agreement to Doris Sophia Coulls, the deceased's widow?

(3) If the said royalties are paid to Bagot's does it receive and hold the royalties as executor or trustee of the deceased's estate or for or on behalf of the said widow or for the widow and the deceased's estate jointly or in common?

The trial judge declared that (1) O'Neil Construction Pty Ltd was not entitled or bound to pay the royalties under the agreement to Bagot's; (2) O'Neil Construction Pty Ltd was entitled and bound to pay the said royalties to Doris Sophia Coulls. On appeal, the members of the High Court were divided in their views about the proper interpretation of the agreement. McTiernan, Taylor and Owen JJ held that the agreement was one between the company and Mr Coulls and that Mrs Coulls was only a third party beneficiary and not a party to the agreement. As a beneficiary, she only had an interest under a revocable mandate which lapsed on Mr Coulls' death and was not binding on his executor. Barwick CJ and Windeyer J (dissenting on this point) held that the agreement was one between the company on the one hand and Mr and Mrs Coulls on the other.]

BARWICK CJ (dissenting): [478] I have come to the conclusion that not only was the promise to pay, a promise to pay the deceased and [Mrs Coulls] during their joint lifetime and thereafter the survivor of them, but that it was a promise given to both of them to make those payments.

It must be accepted that, according to our law, a person not a party to a contract may not himself sue upon it so as directly to enforce its obligations. For my part, I find no difficulty or embarrassment in this conclusion. Indeed, I would find it odd that a person to whom no promise was made could himself in his own right enforce a promise made to another. But that does not mean that it is not possible for that person to obtain the benefit of a promise made with another for his benefit by steps other than enforcement by himself in his own right: see the recent case of *Beswick v Beswick* [1966] Ch 538. I would myself, with great respect, agree with the conclusion that where A promises B for a consideration supplied by B to pay C then B may obtain specific performance of A's promise, at least where the nature of the consideration given would have allowed the debtor to have obtained specific performance. I can see no reason whatever why A in those circumstances should not be bound to perform his promise. That C provided no part of the consideration seems to me irrelevant. Questions of consideration and of privity are not always kept distinct. Indeed, on some occasions when lack of privity is the real reason for not allowing a plaintiff to succeed on a promise not made with him, an unnecessary and irrelevant reason is given that the plaintiff was a stranger to the consideration; that is to say, that he was not merely not a party to the agreement but was not a party to the bargain. In *Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd* [1915] AC 847 privity was not lacking because it was assumed, but the promise made by the defendant to the plaintiff was as between them gratuitous. But in this case whether the promise was made by the company to the deceased alone or to the deceased and [Mrs Coulls], it was not as between promisor and promisee a gratuitous promise.

But as I construe this writing, we have here not a promise by A with B for consideration supplied by B to pay C. It was, in my opinion, a promise by A made to B and C for consideration to pay B and C. In such a case it cannot lie in the mouth of A, in my [479] opinion, to question whether

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the consideration which he received for his promise moved from both B and C or, as between themselves, only from one of them. His promise is not a gratuitous promise as between himself and the promisees as on the view I take of the agreement it was a promise in respect of which there was privity between A on the one hand and B and C on the other. Such a promise, in my opinion, is clearly enforceable in the joint lifetime of B and C: but it is only enforceable if both B and C are parties to the action to enforce it. B, though he only supplied the consideration, could not sue alone. If C were unwilling to join in the action as plaintiff, B no doubt, after suitable tender of costs, could join C as a defendant. And A's promise could be enforced. But the judgment would be for payment to B and C. If B would not join in an action to enforce A's promise, I see no reason why C should not sue joining B as a defendant. Again, in my opinion, A's promise would be enforced and a judgment in favour of B and C would result. In neither of these cases could A successfully deny either privity or consideration. I find nothing in *Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd* to suggest that he could.

Upon the death of one of the joint promisees the promise remains on foot and remains enforceable but it is still the same promise given to B and C though, because of the death of one and the right of survivorship, the promise is now to pay the survivor. C, it seems to me, being the survivor, may enforce the promise by an action to which both B's estate and C are parties. However, C could not, in any event, in my opinion, be the sole plaintiff against A because A's promise was not made with C alone. Consequently, B's personal representative would need to be either a co-plaintiff or joined as a defendant, though in this case the judgment would be for C alone, the promise with B and C being to pay the survivor of them: see *Attwood v Rattenbury* (1822) 6 Moo CP 579 at 584.

Being of this opinion it is unnecessary for me to discuss the question as to whether and, if so, how [Mrs Coulls] could enforce a promise made to the deceased alone to pay her and the deceased for their joint lives and thereafter the survivor of them. In my opinion, however, the right to quarry being specifically enforceable, the executor could enforce the promise to pay [Mrs Coulls]. If he happened to receive them, he could not retain the proceeds of the action beneficially. The question whether C can require the executor to enforce such a promise, or by any means use the executor's name to do so need not presently be investigated.

[480] In my opinion, questions one, two and three should be answered in the same sense as the first and second declarations made by the primary judge …

[11.15] TAYLOR AND OWEN JJ: [485] It was argued in the court below that the wife of the testator was a party to the contract and, alternatively, that the last paragraph of the contract operated as an equitable assignment to her of the royalties payable thereunder after the death of her [486] husband. For our part we are quite unable to see how the last paragraph of the agreement can operate as an equitable assignment having regard both to its terms and to the fact that, even if its terms had not precluded this result, it was not supported by consideration. If, however, the correct conclusion is that the widow was a party to the contract it is, to our minds, clear that she is entitled to receive the royalties payable after her husband's death notwithstanding that she, personally, gave no consideration for the company's promise. We do not accept the contention advanced on behalf of the appellant that if one, only, of two joint promisees provides the consideration for a promisor's promise the other promisee cannot, in any circumstances, sue to recover moneys payable according to the promise. Indeed it is apparent that in such circumstances at common law an action to recover must have been brought by both promisees and that it would fail if brought by one alone. Further it is established that on the death of one of such joint promisees the right of action against the debtor vests at common law in the survivor though of course this does not necessarily determine the ultimate rights, inter se, of the survivor and of the estate of the deceased promisee (*Martin v Crompe* (1698) 1 Ld Raym 340; 91 ER 1123; *Anderson v Martindale* (1801) 1 East 497; 102 ER 191; and *Jell v Douglas* (1821) 4 B & Ald 374; 106 ER 974). The question to be determined, then, is whether the testator's wife was a party to the contract and whether, upon its true construction, the contract contains a promise by the company to pay to her the royalties falling due under the contract after the testator's death.

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We observe first of all that there is nothing whatever in the contract apart from the last paragraph upon which a conclusion could be based that she was a party to the contract. On the contrary the contract purports expressly to be one made between Arthur Leopold Coulls and O'Neil Construction Pty Ltd. It is the testator alone who engaged to give to the company the sole right to quarry and remove stone from the land described, to grant a "permanent right of way" along the original council road of "Watergully" to Perseverance Road and to extend the initial "period" of ten years for another ten years. On its part the company agrees with the testator to pay royalties at the rates specified. But it is said that the only promise to pay royalties made by the company is that contained in the last paragraph and that this is a promise to pay "all money connected with this agreement" [487] to the testator and his wife jointly during their lives and, after the death of one of them, to the survivor. In our view, however, this is not the effect of that paragraph; there was no express promise by the company to pay royalties to the wife nor is it possible to imply such a promise. One cannot doubt, of course, that the testator intended that the royalties should be paid to his wife after his death if she should survive him but it seems to us that the method which he chose to carry this intention into effect miscarried in spite of the fact that his wife's signature appears at the foot of the contract following those of the testator and L O'Neil for the company. The evidence showed that the contract had been written out by the testator's wife at his request and it may have been thought that the effect of the last paragraph was to make her a party and that therefore her signature was necessary. But the mere fact that her signature appears does not make her a party; this is a question to be resolved upon a consideration of the written instrument itself. It seems to us that the terms of the last paragraph do not prescribe the persons who are to be entitled to demand and receive the royalties payable under the agreement and, therefore, do not negative the certain implication which would otherwise arise that it was the testator who was to be so entitled. On what other basis could the husband, alone, "authorise" the survivor to receive them after the death of either himself or his wife? It is, of course, obvious that in the preparation of this informal agreement the persons concerned contemplated, and provided for, the contingency of the death of the testator or his wife during its currency and it is not without significance that, whereas the testator authorized his wife to receive the royalties payable after his death, there is no corresponding authorization by the wife in the event of her husband surviving her. We think it is clear that the only person entitled to demand royalties under the contract was the testator and that his wife was not a party to it. Accordingly we are of the opinion that, since the last paragraph cannot operate as an equitable assignment, the authority which that paragraph gave came to an end on the testator's death. We may say that we come to this conclusion with some regret since it operates to defeat what must, in the circumstances, be presumed to have been the manifest intention of the testator. In our opinion the appeal should be allowed …

[11.20] McTIERNAN J: [482] Because Mrs Coulls signed the document it is argued that she, as well as her husband, are parties to the agreement evidenced by the third memorandum and that the agreement by the company is to pay the royalties to them jointly till one dies and then to pay them to the survivor, the manner of payment being according to the mandate. I am of opinion that this argument is contrary to the whole tenor of the document. The first part of it purports to be a transaction only between AL Coulls and the company. The words of the document including its heading *Agreement between Arthur Leopold Coulls and O'Neil Construction Proprietary* [483] *Limited* countervail against the inference that Mrs Coulls is a party, sought to be drawn from the fact that she signed it. It seems to me that the third memorandum evidences an agreement between the company and AL Coulls on the amount of the royalties and the period of the right to quarry.

I am of opinion that the correct view of the first part of the document is that it is a contract to which the only parties are AL Coulls and the company; and it is implied in the contract that the company is liable to pay to AL Coulls the royalties stipulated by the third and fourth memoranda in the document. Accordingly, I hold that the provisions of the document do not impose on the company a contractual obligation to pay to Mrs Coulls any royalty which accrues due from it after the death of the testator or at all.

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[11.25] WINDEYER J (dissenting): [490] The appellant contends that it is nothing more than a mandate by the deceased to pay to his wife moneys to which he was to become entitled. If that were all that it was, it was revocable by him at any time, and was revoked on his death in respect of all moneys not already paid pursuant to it …. But, with respect for the opinion of those who hold this view of the document, I have come to the conclusion that it is not what on its true construction it means.

I think that the last clause must be read as part and parcel of a contract by which, in consideration of the grant by the deceased of the sole right to take stone from the land, the construction company promised to pay in the way provided. I think that the promise of the company was to pay for the stone at the rate stipulated, such payments to be made to the husband and wife jointly during their lives and thereafter to the survivor. Several factors lead me to that conclusion. The document was signed not only by the deceased and the representative of the construction company, but also by the wife. I can see no reason for her signature except upon the basis that she had an interest in the performance of the contract. It is not, I think, altogether incongruous that a contractual term as to the manner of payment should be introduced [491] by the words "I authorise". It was the deceased who could stipulate how his stone was to be paid for. His expression, "I authorise", should I consider be read as equivalent to a requirement by him. It can hardly have been intended by him that an arrangement expressed to continue in favour of the survivor of himself and his wife should be destroyed if he died first ….

I therefore conclude that in the present case it was a term of the contract that, as from the death of Coulls (he having predeceased his wife), all moneys becoming due under the agreement should be payable to the respondent, Mrs Coulls. That being so, the answer to the question in the originating summons: "Is O'Neil Construction Pty Ltd entitled or bound to pay the royalties under the agreement to Doris Sophia Coulls the deceased's widow?", must I think be "Yes. It is entitled to do so; and it is bound to do so". That is because that is what it must do to perform its contract.

[492] The transaction can then be analysed, in terms of contract, in either of two ways. One is that the company (by its agent O'Neil) promised Coulls and his wife, for valuable consideration (actually provided by him but on behalf of both of them), that it would pay the royalties to them for their joint lives and afterwards to the survivor.

The other analysis is that the company (by O'Neil) promised Coulls alone for consideration moving from him alone that it would pay the royalties to him and his wife for their joint lives and afterwards to the survivor. In my view, the former analysis is, for reasons I shall give, the correct one. However, as I appreciate that the other is open and derives some support from the heading of the document, I shall consider the consequences of each to show why in my opinion the ultimate answer in this case is the same in whichever way the contract be viewed.

My reasons for saying that the promise by the construction company was made to Coulls and Mrs Coulls as joint promisees are as follows. [His Honour then gave his reasons and continued:]

[493] Still, it was said, no consideration moved from her. But that, I consider, mistakes the nature of a contract made with two or more persons jointly. The promise is made to them collectively. It must, of course, be supported by consideration, but that does not mean by considerations furnished by them separately. It means a consideration given on behalf of them all, and therefore moving from all of them. In such a case the promise of the promisor is not gratuitous; and, as between him and the joint promisees, it matters not how they were able to provide the price of his promise to them. That is the position as I see it. It accords with the very old decision in *Rookwood's case* (1589) Cro Eliz 164; 78 ER 421, and with general principle.

On this view, that Coulls and Mrs Coulls were joint promisees, an action against the construction company would, during their joint lives, have had to be brought in the names of both. If one had refused to be joined as a plaintiff, he or she could, after an offer of indemnity against costs, have been made a defendant: *Whitehead v Hughes* (1834) 2 Cr & M 318; 149 ER 782; *Cullen v Knowles* [1898] 2

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QB 380; *Rodriguez v Speyer Brothers* [1919] AC 59 at 103, 104. After the death of either of two joint promisees an action on a contract can be brought by the survivor alone: see *Halsbury's Laws of England* (3rd ed), vol 8, p 67. Therefore, Mrs Coulls, on the basis that she is a surviving joint promisee, could now bring an action on the contract; and in respect of moneys becoming due and payable under it since the death of her husband recover them for herself alone.

I turn now to the other view of the transaction – as a contract between Coulls and the construction company that it would pay the royalties to himself and his wife during their joint lives and afterwards to the survivor of them.

[494] By the common law of England only those who are parties to a contract can sue upon it. For us that statement is incontrovertible. But what exactly is meant by it? Is there a useful distinction between denying a right of action to a person because no promise was made to him, and denying a right of action to a person to whom a promise was made because no consideration for it moved from him? The change the learned authors of *Cheshire and Fifoot on Contract* made in their sixth (1964) edition, p 65, from their earlier editions, illustrates the question. Now, after a recantation of earlier opinion, they say:

> So long as consideration is an essential feature of English law it would seem to be immaterial whether a person is forbidden to sue on the ground that he has given no consideration or on the ground that he is a stranger to the contract. They are but two ways of saying the same thing.

Yet a distinction was from an early date made, verbally at least, between the two matters. Actions of assumpsit were sometimes said to fail because the promise sued on was not made to the plaintiff; a very early example is *Jordan v Jordan* (1595) Cro Eliz 369; 78 ER 616. In other cases they were said to fail because, as it was put in *Bourne v Mason* (1669) 2 Keb 457; 86 ER 5: "the plaintiff did nothing of trouble to himself or benefit to the defendant but is a mere stranger to the consideration."

And sometimes it was said of an unsuccessful plaintiff that he was not privy to either the promise or the consideration. The two matters were stated separately, and each was said to be fundamental, by Lord Haldane in the well known passage in his speech in *Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd* [1915] AC 847 at 853. And Lord Wright in *Vandepitte v Preferred Accident Insurance Corp of New York* [1933] AC 70 at 79, also stated them separately when he said: "no doubt at common law no one can sue on a contract except those who are contracting parties and (if the contract is not under seal) from and between whom consideration proceeds."

Doubtless the two requisites merge in the strict view of a contract as a bargain, a promise for which the promisee has paid the price. Yet the question as posed by Williston has perhaps not been firmly and finally answered: "Does the law require that promises shall be paid for by the promisee, or does it merely require that the promise shall be paid for by someone?": *Williston on Contracts* (3rd ed), vol 1, s 114, p 495.

In the United States the question does not now arise in the same way as it does for us. There, in most but not in all jurisdictions, third persons (both donee-beneficiaries and creditor-beneficiaries as they are called) are now able to sue directly upon contracts made by others for their benefit. This rule, now accepted by the *Restatement of the Law of Contracts*, was arrived at only after much conflict among courts and commentators, as the following passage, from the judgment in *Tweeddale v Tweeddale* (1903) 116 Win 517; 93 NW 440, shows:

> It is useless to endeavour to review the authorities touching the subject before us with a view of harmonising them upon any one single theory as to the principle upon which the liability to the third person is based, or as to what are the essential elements to effect it. There is as much confusion, probably, in the judicial holdings in respect of the matter as on any question of law that can be mentioned … There is confusion not only between different courts, but confusion in the decisions in many jurisdictions in the same court.

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On whatever foundation the American doctrine be put, it cannot, I think, be accepted as a part of the common law as we have inherited it. For us the rule prevails that a plaintiff who sues on a promise must show a consideration for it provided by him …. [499] Whether we like them or not, the rules relating to consideration seem to me a stubborn part of our law. They cannot be displaced by courts by head-on collision. Fortior et potentior est dispositio legis quam hominis. Where then does the law now stand?

Suppose that A makes a contract with B that, for consideration moving from A, B will pay $500 to C, and B fails to do so, C cannot sue B at law. Nor can he seek relief in equity unless A has become a trustee for him of his, A's, rights under the contract. (I leave out of consideration any statutory modification of these rules.) It is, however, equally certain that A can sue B for damages; for, by not paying C, B has broken his contract with A. (Alternatively, A may sue B for specific performance in a case where that remedy is available.) Two questions arise. If A sues [500] for damages, what damages can he recover from B? Secondly, for whom does he get them, himself or C?

In *Beswick v Beswick* Lord Denning MR said (at 554): "Although the third person cannot as a rule sue alone in his own name, nevertheless there is no difficulty whatever in the one contracting party suing the other party for breach of the promise."

So far, I suppose no one could disagree. But his Lordship goes on to say: "The third person should therefore bring the action in the name of the contracting party, just as an assignee used to do", and he concludes that by this means the third party can obtain what the promisor had promised to pay him.

That again I must respectfully take leave to doubt. In the first place, it supposes that the damages which the promisee suffered because the contract with him was broken are to be measured by, and equated with, the benefits which the third person would have got had it been performed. In the second place, it assumes that the plaintiff brings his action on behalf of the third person, who becomes entitled to its fruits. For reasons which will appear, I cannot accept either proposition …

[501] The question which presents itself at this point is what is the measure of damages for breach of a promise to confer a benefit upon a third party? Take the case supposed above; a contract by A with B under which B is to pay $500 to C. A sues B for breach of contract. There are authorities which say that he could recover only nominal damages, because it is C who has suffered not he: see *West v Houghton* (1879) 4 CPD 197; *Viles v Viles* [1939] SASR 164; but compare *Drimmie v Davies* [1899] 1 IR 176. As Else-Mitchell J remarked in *Cathels v Commissioner of Stamp Duties* [1962] SR (NSW) 455 at 472 the cases on this point are "conflicting and unsatisfactory". No difficulty would arise if a statement of Lush LJ in *Lloyd's v Harper* (1880) 16 Ch D 290 at 321, could be accepted without qualification and regardless of its context. He said: "I consider it be an established rule of law that where a contract is made with A for the benefit of B, A can sue on the contract for the benefit of B and recover all that B could have recovered if the contract had been made with B himself."

But I think we must take it that when the learned Lord Justice spoke of a contract for the benefit of B he was thinking of a contract of which A was a trustee for B; that is to say of a case in which A held his legal rights under a contract as a trustee for B. In such a case of course the question disappears but the case I have supposed, a contract by A with B that B will pay C $500, is a transaction at law devoid of any equity in C. Yet I do not see why, if A sued B for a breach of it, he must get no more than nominal damages. If C were A's creditor, and the $500 was to be paid to discharge A's debt, then B's failure to pay it would cause A more than nominal damage. Or, suppose C was a person whom A felt he had a duty to reward or recompense, or was someone who, with the aid of $500, was to engage in some activity which A wished to promote or from which he might benefit – I can see no reason why in such cases the damages which A would suffer upon B's breach of his contract to pay C $500 would be merely nominal. I think that, in accordance with the ordinary rules for the assessment of damages [502] for breach of contract, they could be substantial. They would not necessarily be $500; they could, I think, be less, or more. That is as I see it. I realise that (as Messrs Goff and Jones mentioned in their work the *Law of Restitution* and as Mr Treitel has recently emphasised) there are

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statements in *Cleaver v Mutual Reserve Fund Life Association* [1892] 1 QB 147 (by Lord Esher at 153 and by Fry LJ at 157, 158) which suggests that the promisee could recover not unliquidated damages but the sum which the promisor had agreed he would pay to the third party; but I find difficulty in seeing how this could be so.

Suppose that A does recover substantial damages for B's failure to perform his promise to A to pay C $500 – the next question is, does he recover those damages for himself or for C. Notwithstanding the statements in *Beswick v Beswick* [1966] 1 Ch 538, suggesting that he would recover them for C, I do not see why this should be. On the hypothesis of a purely contractual right with no trust attached, why should A hold for C the proceeds of his action? He sued at law for damages he himself suffered, not as the representative of C. C had no right of action. A, not being a trustee of his contractual rights, might, had he wished, have released B from his contract, or declined to sue him for breach of it; or by agreement between A and B the contract could have been varied. C could not have complained. Why then is it said that proceedings brought by A to enforce his legal right give C a right against A when previously he had none? (I leave out of consideration the possibility of a bargain between A and C supported by consideration moving from C.) Of course A, whose purpose had miscarried because of B's breach of contract, might make over any damages he recovered to C; but that would not be because C had a right to them, but because A still wished to give effect to his plan to confer a benefit on him. In a case in which specific performance was an available remedy, A might choose to seek that form of redress against B, and thus obtain a judgment that B pay C $500. That, however, would not be because A was enforcing a right of C, but because he was enforcing his own right against B by obtaining an order that B perform his contract with him, A. For this reason – and always on the assumptions that there was no trust and that the transaction was as between A and C wholly gratuitous – I am not persuaded that C could force A to seek redress from B, or dictate to him what form of redress, specific performance or damages, he should seek.

On the interpretation of the royalty agreement now under consideration Coulls, or his executor, could in my opinion obtain an order for specific performance by the construction company [503] of its promise to pay the royalties. This agreement can be regarded as specifically enforceable because of the interests in land involved. That suffices, in this case, but I would be prepared to go further. The decision in *Beswick v Beswick* [1966] 1 Ch 538 points out the way and, as at present advised, I would follow it. I do not think it is really a new way, although it is perhaps now more easily seen. It seems to me that contracts to pay money or transfer property to a third person are always, or at all events very often, contracts for breach of which damages would be an inadequate remedy – all the more so if it be right (I do not think it is) that damages recoverable by the promisee are only nominal. Nominal or substantial, the question seems to be the same, for when specific relief is given in lieu of damages it is because the remedy, damages, cannot satisfy the demands of justice. "The court", said Lord Selborne, "gives specific performance instead of damages only when it can by that means do more perfect and complete justice": *Wilson v Northampton and Banbury Junction Railway Co* (1874) 9 Ch App 279 at 284. Lord Erskine in *Alley v Deschamps* (1806) 13 Ves Jun 225, 227; 33 ER 278, 279 said of the doctrine of specific performance: "This court assumed the jurisdiction upon this simple principle: that the party had a legal right to the performance of the contract, to which right the courts of law, whose jurisdiction did not extend beyond damages, had not the means of giving effect."

Complete and perfect justice to a promisee may well require that a promisor perform his promise to pay money or transfer property to a third party. I see no reason why specific performance should not be had in such cases; but of course not where the promise was to render some personal service. There is no reason today for limiting by particular categories, rather than by general principle, the cases in which orders for specific performance will be made. The days are long past when the common law courts looked with jealousy upon what they thought was a usurpation by the Chancery Court of their jurisdiction.

Nevertheless, I fail to see how allowing a promisee to obtain an order for specific performance by a promisor of his promise to pay moneys or transfer property to a third person can give the third

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person himself any right to enforce a contract to which he was not a party. The promisee has a choice of remedies. But, unless he be a trustee of his contractual rights, he can, if he chooses, abandon both. On the hypothesis that Mrs Coulls was not a party to the contract, that the contract was only with her husband it seems [504] to me that there is a logical hiatus in saying that she could compel proceedings to enforce it.

The situation thus created does not fit quite neatly into a classification of rights and reciprocal remedies. It suffices, however, to refer to the analysis by du Parcq LJ in *Re Schebsman* [1944] Ch 83 which I respectfully adopt. The primary obligation of a party to a contract is to perform it, to keep his promise. That is what the law requires of him. If he fails to do so, he incurs a liability to pay damages. That, however, is the ancillary remedy for his violation of the other party's primary right to have him carry out his promise. It is, I think, a faulty analysis of legal obligations to say that the law treats a promisor as having a right to elect either to perform his promise or to pay damages. Rather, using one sentence from the passage from Lord Erskine's judgment which I have quoted above, the promisee has "a legal right to the performance of the contract". Moreover, we are concerned with what Fullagar J once called "a system which has never regarded strict logic as its sole inspiration": *Tatham v Huxtable* (1950) 81 CLR 639 at 649.

For these reasons I conclude that, even on the hypothesis that Mrs Coulls was a third person to be benefited but not a party to the contract, the answer to the question in the originating summons is still that the construction company is bound to pay the royalties to her, for whatever difficulties she might have in compelling it to do so, it would break its contract if it did not do so.

I sum up my opinion as follows: The construction company was bound by contract to pay the royalties to Coulls and his wife during their lives and to the survivor after the death of either. Whether the contractual promise of the company was with Coulls and his wife jointly or with Coulls alone, the result for the purposes of this originating summons is the same.

Appeal allowed. Declaration that the respondent O'Neil Construction Pty Ltd is entitled and bound to pay the royalties payable under the agreement to the executor.

[11.30] **Note**

The joint promisee doctrine enunciated in *Coulls v Bagot's Executor & Trustee Co Ltd* (1967) 119 CLR 460 was criticised by Professor Coote in "Consideration and the Joint Promisee" [1978] *Cambridge Law Journal* 300.

NON-APPLICATION OF THE PRIVITY RULE: AGENCY

[11.32] It may be possible to show that a party not directly involved in acts of contract formation is nevertheless a party to the contract. The privity rule does not apply if a person promised a benefit under a contract can show that one of the parties involved in the contractual negotiations entered into the contract as his or her agent. An agent is a person who has power to enter into a contract on behalf of another person. If A, acting as an agent of C (principal), makes a contract with B, then C is a party to that contract. Agency relationships can be created expressly or by implication. To establish the existence of an agency relationship, it is necessary to show that the principal expressly or impliedly consented to the agent acting on his or her behalf so as to effect the principal's relations with third parties.

In addition to establishing that an agency relationship exists, it will also be necessary to show that, with respect to the particular transaction under consideration, the agent was purporting to act on behalf of the principal and not solely on his or her own behalf. Ratification refers to the adoption or confirmation of a contract made without prior authorisation. The concept is considered in detail in *Port Jackson Stevedoring v Salmond & Spraggon (Aust) (The "New York Star")*.

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[11.35] *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The "New York Star")* (1978) 139 CLR 231 (High Court of Australia) – Appeal from the New South Wales Court of Appeal.

[FACTS: The Schick Razor Company of Canada shipped a consignment of 37 cartons of razor blades from New Brunswick in Canada to Sydney on the "New York Star" (a ship owned by the Blue Star Line). The bill of lading (which set out the terms of the contract of carriage) was issued by the Blue Star Line to the consignor (Schick) and was transmitted to and accepted by the consignee (the *respondent*). The *appellant* was a stevedoring company operating in Sydney. The appellant was 49 per cent owned by the Blue Star Line, commonly acted as its stevedore and was aware of the terms of the bill of lading. The razor blades were unloaded by the appellant on arrival in Sydney and placed in a shed, from which 33 of the 37 cartons were stolen, having been misdelivered by the appellant stevedores. The respondent consignee sued the appellant stevedore in tort. Clause 17 of the bill of lading provided that the carrier was discharged from liability if suit was not brought within one year after the date on which the goods should have been delivered. Clause 2 was a "Himalaya clause", which extended the benefit of defences and immunities conferred on the carrier to every independent contractor employed by the carrier. These provisions were in substance identical to those considered by the Privy Council in *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd (The Eurymedon)* [1975] AC 154, an appeal from the Court of Appeal in New Zealand. The stevedore relied upon these provisions as affording a defence to the consignee's action on the basis that the carrier had entered into the contract as agent for the stevedore.

Before Sheppard J, the two relevant arguments made by the consignee were:

1. that one of the necessary conditions for applying the "Himalaya clause" had not been satisfied, in that it had not been shown that the carrier had authority to act on the stevedore's behalf in accepting the bill of lading (the "agency" point); and
2. that the bill of lading ceased to have any operation after the goods passed over the ship's rail (the "construction" point).

Sheppard J rejected these arguments, but found that the necessary agency was established only by ratification. He gave judgment for the stevedore. In the Court of Appeal, the same arguments were put forward and were rejected by the court. The court found that the necessary agency was directly established by the evidence, so that reliance on ratification was not necessary. In addition, however, the consignee was given leave to take a fresh point, namely:

3. that there was no proof of consideration moving from the stevedore so as to entitle it to the benefit of defences and immunity clauses in the bill of lading (the "consideration" point).

The Court of Appeal accepted that contention, allowed the appeal and gave judgment for the consignee for $14,684.98 damages.

In the High Court of Australia, the "agency" point and the "consideration" point were again argued, but rejected by the majority of the court: Barwick CJ, Mason and Jacobs JJ.

As to the "construction" point, senior counsel for the consignee expressly disclaimed reliance upon it (since Glass JA in the Court of Appeal had described it as "without substance") and argument upon

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it was not heard. However, the majority of the Court, (Barwick CJ dissenting) decided the appeal in favour of the consignee upon this point.

In the Privy Council their Lordships found in favour of the stevedore on all points, and on the appeal as a whole were in agreement with the judgment of Barwick CJ in the High Court.]

BARWICK CJ (dissenting): [234] The bill … contained the following clauses:

> 2. It is expressly agreed that no servant or agent of the Carrier (including every independent contractor from time to time employed by the Carrier) shall in any circumstances whatever be under any liability whatsoever to the Shipper, Consignee or Owner of the goods or to any holder of this Bill of Lading for any loss, damage or delay of whatsoever kind arising or resulting directly or indirectly from any act, neglect or default on his part while acting in the course of or in connection with his employment and, without prejudice to the generality of the foregoing provisions in this Clause, every exemption, limitation, condition and liberty herein contained and every right, exemption from liability, defense and immunity of whatsoever nature applicable to the Carrier or to which the Carrier is entitled hereunder shall also be available and shall extend to protect every such servant or agent of the Carrier acting as aforesaid and for the purpose of all the foregoing provisions of this Clause the Carrier is or shall be deemed to be acting as agent or trustee on behalf of and for the benefit of all persons who are or might be his servants or agents from time to time (including independent contractors as aforesaid) and all such persons shall to this extent be or be deemed to be parties to the contract in or evidenced by this Bill of Lading …
> 17. In any event the Carrier and the ship shall be discharged from all liability in respect of loss or damage unless suit is brought within one year after the delivery of the goods or the date when the goods should have been delivered. Suit shall not be deemed brought until jurisdiction shall have been obtained over the Carrier and/or the ship by service of process or by an agreement to appear.

[239] There is, in my opinion, no reason not to enforce the time limitation in cl 17, if the appellant (the stevedore) is in a position to take advantage of it. Its enforcement would in no wise defeat any object of the bill, would not lead to any absurdity, nor are its provisions unreasonable. It is commercially acceptable and, indeed, reasonably necessary that time limitations should be imposed if the consignor or the consignee claims recourse against ship or stevedore by reasons of alleged defaults in the performance of obligations borne by the ship either as carrier or as bailee or by the independent stevedore … The respondent (the consignee) knew at the date it sought delivery of the goods that the appellant was in default. A period of 12 months therefrom within which to commence proceedings is not unreasonable in relation to a commercial activity of the subject kind.

[240] Their Lordships in *The Eurymedon* adopted the dicta of Lord Reid in *Scruttons Ltd v Midland Silicones Ltd* [1962] AC 446 at 474. This adoption clearly lays down that the stevedore discharging the ship was entitled to the benefit of clauses such as cll 2 and 17 in the present bill of lading if, (1) the bill of lading made it clear that the carrier intended by its terms to protect the stevedore, (2) the carrier by the bill contracted for the stevedore's protection as well as for his own, (3) the authority of the carrier to act for the stevedore in this respect whether antecedently or by ratification was made out, and (4) that there was consideration moving from the stevedore.

At the trial of the present action, the first two and the last of these requisites were conceded by the respondent, though the third was contested. The learned trial judge, however, found that the appellant had ratified the agreement made by the carrier on its behalf. Accordingly, judgment was given for the appellant.

The terms of cl 2 make it abundantly clear that the carrier purported to contract with the consignor for independent contractors it might engage to handle the consignment …

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Thus items (1) and (2) above were in my opinion properly conceded at the hearing of the action.

[241] The appellate court, having reviewed the evidence, found that "the carrier in bargaining for the protection of (the) stevedore was acting with the appellant's authority", that is, with its antecedent authority. In my opinion, this was a correct conclusion of fact …

However, although the contrary was conceded at the trial, the respondent (the appellant before the appellate court) sought to submit to that court that there was no consideration shown to be moving from the appellant to support in its favour the benefit of cll 2 and 17 of the bill of lading …

The appellate court, having allowed the point to be raised before it, thereafter decided it against the appellant. This court must now deal with it.

As appears from the passage quoted below, the appellate court in reaching its conclusion treated the case as one in which an offer at large had been made requiring acceptance by an act done as an acceptance of that offer.

The appellate court found that it had not been established that the appellant had accepted the offer or given consideration to support the agreement with the consignor which it claimed had been made by means of the bill of lading and its own activity in discharging, sorting and stacking the shipment in question. The relevant passage in the judgment of Glass JA, which received the assent of the other members of the appellate court, is as follows:

> The plaintiff [the respondent] then submits that although the stevedore's knowledge of the exempting offer could be inferred, there is no evidence that in performing its stevedoring functions it did so in reliance upon the offer. [242] … I find that the stevedore knew of the shipper's offer to exempt. But it was bound to carry out stevedoring operations under its contract. For all that appears there may have been no relationship whatever between the conduct of the stevedore and its knowledge of the offer: *Australian Woollen Mills Pty Ltd v Commonwealth* (1954) 92 CLR 424 at 457. It is quite consistent with the facts proved that the stevedore acted as it did solely because of the contract it had made with the carrier. For these reasons I conclude that there is a fatal gap in the stevedore's proofs of the fourth condition on which *The Eurymedon* doctrine depends.

From this quotation of their reasons it will be observed that the appellate court accepted the view that the bill of lading, in relation both to the activities of the carrier and those of the stevedore was intended to govern those activities taking place after the consignment had left the ship's tackles.

The analysis of the situation which arose on the consignor's acceptance of the bill of lading covering the shipment which found favour with the appellate court is, in my opinion erroneous. It led that court to look for an act of the stevedore in-[243]tended acceptance by the stevedore of a standing offer contained or made in the bill of lading.

I proceed to develop my own view of the consequence of the issue to and acceptance by the consignor of the bill of lading containing the clauses I have quoted. From this my divergence from the basis of the appellate court's decision will become apparent.

As the authority of the carrier to make with the consignor an arrangement for the benefit of the appellant was made out, it cannot be doubted, in my opinion, that the carrier acted with the authority of the appellant as its agent to make an arrangement with the consignor for the protection of the appellant, as an independent contractor participating in the handling of the cargo, again using "handling" in a neutral sense. To that arrangement there were two parties, the consignor and the appellant. By later accepting the bill the consignee became party to the arrangement with the consignor. I can see no validity in a suggestion that the bill of lading could not at the one time contain a contract of carriage between the consignor and carrier and an arrangement between consignor and stevedore, made through the agency of the carrier, to regulate the relationship of consignor and stevedore, when the stevedoring work was undertaken.

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For my part, I find no difficulty in interpreting the arrangement made by the bill of lading and its acceptance by the consignor as providing that if, in fact, the appellant stevedored the cargo, leaving aside for the moment what the stevedoring involved, the appellant should have the benefit of the clauses of the bill including the benefit of the time limitation expressed in cl 17 of the bill of lading. I am unable to treat the clauses of the bill of lading as in any respect an unaccepted but acceptable offer by consignor to stevedore. Indeed, I do not think the bill can be interpreted as containing an offer at large by the consignor. The consignor and the appellant as stevedore were ad idem through the carrier's agency upon the acceptance by the consignor of the bill of lading as to the protection the stevedore should have in the event that it stevedored the consignment. But this consensus lacked the essential of consideration. The appellant through the bill of lading made no promise to stevedore the cargo. Thus, whilst I would not analyse the situation obtaining on the acceptance of the bill of lading as an exchange of promises, I would not analyse it as merely the making of an offer susceptible of acceptance by an act of the stevedore done in purported acceptance of the offer. For this reason I have described the bill [244] of lading in so far as the carrier there purports to act for the appellant as an arrangement. To agree with another that, in the event that the other acts in a particular way, that other shall be entitled to stated protective provisions only needs performance by the doing of the specified act or acts to become a binding contract. Whether or not the arrangement is susceptible of unilateral disavowal before the stated act is done need not be discussed. Here the act was done. The performance of the act or acts at the one moment satisfied the need for consideration and attracted the agreed terms. For myself, and with due respect to those who find comfort in them, I find the descriptions "unilateral and bilateral" or "mutual" unhelpful in the resolution of this case. Indeed, the use of them seems to assume that they are mutually exclusive terms and together cover all possibilities. But I do not think they do. Indeed, this bill of lading, as I read it, indicates in my opinion that they do not. As I see it, we have here an arrangement, a compact with agreed conditions to attend the performance of certain acts, which are not promised to be done. True enough that, until such performance, the consensus has nothing upon which to operate. But that is its essential characteristic, to provide an agreed consequence to future action should that action take place: to attach conditions to a relationship arising from conduct. If one desires to use the terms, it could be said that the arrangement is mutual: it is bilateral: to it there are two parties both agreeing to the terms of the intended consequence, on the one hand the consignor and on the other the stevedore acting through its authorised agent, the carrier. The performance of the contemplated act both supplies the occasion for those conditions to operate and the consideration which makes the arrangement contractual. The document containing the basic terms and conditions for stevedoring at Sydney to which I earlier referred is another instance of an arrangement made between parties to regulate their relationship in the event that one of them in fact became the stevedore of the other's ship. Neither promised the other anything: the ship did not engage to employ the stevedore or the stevedore to discharge the ship and stevedore its cargo.

The arrangement in the bill of lading thus being one between consignor and stevedore effected through the authorised agency of the carrier, questions as to how far, if at all, someone not a party to a contract, but for whose benefit it is made, can enforce the agreement made between others, do not arise. Cases such as *Tweddle v Atkinson* (1861) 1 B & S 393; 121 ER 762 and other cases listed in the notes to paras [245] 315 and 329 of *Halsbury's Laws of England* (4th ed, 1975), vol 9, have no place, in my opinion, in the resolution of the question whether the appellant was a party to the arrangement in the relevant clauses of the bill of lading. The decision in The *Eurymedon* made the stevedore a party to the relevant parts of the bill of lading. It is, in my opinion, that feature of the decision which is so significant and important for the commercial community, particularly that section which is concerned with the transport of goods …. In this case, it is found as a fact that the carrier, in making the agreement with the consignor through the bill of lading, was indeed contracting for itself and also for the stevedore and with its antecedent authority. There is thus, in my opinion, in this case no need for the stevedore to prove that he was acting on an offer otherwise not accepted in order to establish the existence of an agreement with the consignor. The consensus existed on the consignor's acceptance of the bill apart altogether

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from any subsequent [246] conduct on the part of the stevedore. It resulted from the carrier's action on behalf of the stevedore and with its authority. This situation is, in my opinion, in high contrast to those in *The Crown v Clarke* (1927) 40 CLR 227 and *Australian Woollen Mills Pty Ltd v Commonwealth*. In those cases, what was considered was an offer to be accepted by conduct, a recognised manner of creating the contractual relation by an offer of a promise for an act. Of course, in such a case, the act if done must be capable of being regarded as having been done as an acceptance of the offer. But there is a fundamental difference between providing consideration to support a consensual arrangement otherwise made and the acceptance by performance of an act of an offer not otherwise accepted … [247] …

I would add, however, if contrary to my own opinion the result of the acceptance by the consignor of the bill of lading, containing the "Himalaya clause", were properly analysed as the making of an offer by the consignor susceptible of acceptance by the doing of the work, I should be of opinion that it was established in this case that the appellant had accepted the offer. The knowledge by the stevedore of the terms of the bill, of the ship's manifest and its usual employment in discharging the stevedoring the Blue Star ships would, in my opinion, require the conclusion that the acts of the appellant were done in relation to the bill containing the "Himalaya" clause.

The relationship between the carrier and the stevedore was of long standing. The use of a bill of lading for consignments to Australia containing a "Himalaya" clause was well known between them. The ship's manifest would disclose to the stevedore the shipment in question and the identity of the consignor. The stevedore, in fact, removed from the ship's side into store, sorted and stacked the consignment. Charges for stacking and storing were presented to and paid by the consignee through the ship's agent. In the ordinary course, the goods would have been delivered to the consignee against presentation of the bill of lading. I would find it extremely difficult to fail to conclude in those circumstances that in stevedoring the shipment the stevedore was responding to the terms of the bill of lading, accepting both its obligations and seeking the benefit of its restrictions …

[252] Clause 17 in relation to the carrier's acts is clearly universal in terms, so that it clearly applies to the acts of the carrier as bailee in itself stevedoring the goods from ship's tackles to store, etc. If the clause covers the carrier when acting as stevedore and bailee of the goods, as in my opinion it does, I am unable to discover any reason why it should not cover the independent stevedore in the movement of the cargo. There can, in my opinion, be no justification for refusing to give the carrier the benefit of cl 17 in respect of its own acts or omissions as bailee of the goods following upon their removal from the ship's side. To confine the scope of the agreement with the stevedore to a period ending with the discharge of the goods from the ship's tackles is not only seriously to limit the efficacy of the clauses of the bill of lading and to defeat the reasonable commercial expectation of the consignor and carrier, but it is in my opinion an unwarranted interpretation of the language of the bill of lading. I am unable to discover any reason why it should not cover the independent stevedore in the on movement of the cargo …

Thus, in my opinion, the principle on which *The Eurymedon* [1975] AC 154 was decided and the clauses of the bill properly construed covered the situation in this case and required that the judgment of the primary judge be supported.

[11.40] STEPHEN J: [254] I would dismiss the appeal, but for reasons other than those which found favour with the Court of Appeal. In my view, the loss of the goods occurred at a time when the stevedore was no longer acting in performance of any of the carrier's obligations under the bill of lading. The benefits of cl 2, if ever available to the stevedore, had for that reason ceased to apply and could no longer be availed of by it.

Why this is so requires close examination of the bill of lading. However, I should first explain the reasons for my qualified acknowledgement of the availability to the stevedore, in any circumstances, of the benefit of cl 2 of the bill of lading. In neither of the Courts below was the decision of the majority of their Lordships in *The Eurymedon* open to challenge. On the present appeal neither party has sought to cast doubt upon the correctness of what was there decided and I would not be disposed to

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canvass the decision were it not that my dismissal of this appeal might otherwise be taken as involving the acceptance of that decision. Accordingly I will endeavour to state, as concisely as possible, why, with respect, I take a view different from that of the majority in *The Eurymedon*.

[255] That case turned upon the view to be taken of the equivalent of cl 2 of the present bill of lading. The effect of these clauses is, first, to exempt the carrier's servants and agents and "every independent contractor from time to time employed by the Carrier" from liability to the shipper, consignee or owner of the goods for loss or damage or delay while acting in the course of or in connexion with their employment. Every exemption and limitation to which the carrier is entitled is then expressly made available to them. Finally, "for the purpose of all the foregoing provisions" of the clause the carrier is "deemed to be acting as agent or trustee on behalf of and for the benefit of all persons who are or might be his servants or agents from time to time (including independent contractors as aforesaid)" all of them being "to this extent" deemed to be parties to the contract in or evidenced by the bill. The latter part of the clause thus acknowledges, as between shipper and carrier, that the carrier is, for the purpose of what goes before, contracting as agent for each of its servants, agents and independent contractors, who are to that extent deemed to be parties to the contract with the consignor. What goes before is the conferring upon each of them of the benefit of every exemption from liability and immunity to which the carrier is entitled under the bill. But for the doctrine of consideration the legal consequence would be clear; a stevedore would be entitled to the benefit of those exemptions in the bill.

However, because, at the date of the bill, the stevedore at the port of discharge had as yet provided no consideration, the learned trial judge in *The Eurymedon* [1975] AC 154, Beattie J, concluded that that could not be the effect in law of this clause. Nevertheless, he felt able to give the clause effective operation by reading it as an offer of immunity by the shipper to all persons of the class mentioned, including the stevedore, the carrier being their agent to receive that offer. Performance by any of them of services for the consignor was an acceptance of the offer and resulted in a unilateral contract of the familiar *Carlill v Carbolic Smoke Ball Co* [1893] 1 QB 256 type …

[256] The genesis of *The Eurymedon* lies in what was said by Lord Reid in *Scruttons Ltd v Midland Silicones* [1962] AC 446, 474. Lord Reid there suggested a means whereby a stevedore might possibly be given the benefit of those immunities which by its bill of lading a carrier might secure for itself as against a shipper. In all the successive judgments in *The Eurymedon* Lord Reid's suggestion was accepted as authoritative and the question was whether the clause in fact answered the description of what Lord Reid had [257] suggested, in particular whether, when applied to a discharging stevedore, Lord Reid's requirement as to overcoming "any difficulties about consideration moving from the stevedore" had been satisfied. Whereas Beattie J overcame these difficulties by discerning a *Carlill*-type unilateral contract, the majority of their Lordships, while acknowledging no substantially different analysis, preferred to express the relationship as involving an initial "bargain" between and shipper and stevedore, albeit devoid of consideration moving from the latter. That has, no doubt, the advantage that it better accords with the language of the clause, couched as it is in terms of an immediately concluded agreement but, as I would understand it, it differs from a *Carlill*-type unilateral contract only in that persons to whom the offer is made are present at the time of its making (in the present case, in the shape of the carrier who is their agent to receive the offer). It is their presence and their assent (if that be not too strong a word) to the making of the offer to them that enabled their Lordships to say that although no binding agreement had been concluded a "bargain" had been struck which might mature into a "complete" contract if one to whom the offer was made performs part of the work contemplated under the bill of lading and thereby, at the same time, provides consideration in exchange for the shipper's promise which is involved in the offer.

It is not surprising that there should have been difficulty in reconciling the operation of the clause with Lord Reid's earlier suggestion since, as Lord Simon of Glaisdale points out in his dissenting judgment in *The Eurymedon* [1975] AC 154, 183, that form of clause was not drawn in the light of what his Lordship had said but, on the contrary, antedates Lord Reid's judgment in *Midland Silicones*. Indeed I would have thought, from the terms in which Lord Reid speaks in *Midland Silicones*, that

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his Lordship cannot have contemplated anything in the way of *Carlill*-type unilateral contract. His Lordship speaks of the carrier "contracting as agent for the stevedore that these provisions should apply to the stevedore" and of the carrier having authority from the stevedore "to do that", words which contemplate the creation of a contract having immediate effect as binding both parties and which are as inappropriate to an orthodox *Carlill*-type unilateral contract as they are to the particular formulation favoured by the majority of their Lordships.

[257] In my view cl 2, which was not designed to give effect to Lord Reid's suggestion in *Midland Silicones*, is not in fact capable of giving effect to it. I respectfully share with those of their [258] Lordships who dissented and with the members of the New Zealand Court of Appeal an inability to read its words as recording anything other than a contract then and there concluded, and which, in relation to the stevedore, necessarily falls foul of the doctrine of consideration. Nor am I, with respect, satisfied that, either in the interests of international commercial comity or upon grounds of public policy, this is a case in which the language of the parties ought to be strained in an endeavour to give it an efficacy which, according to its ordinary meaning, it does not possess.

On the score of public policy the observations of Sheppard J at first instance are of cogency. His Honour thought it proper to refer to aspects of the evidence which had disturbed him, aspects which suggested a lack of effective supervision and perhaps a degree of irresponsibility on the part of those whose task it was to care for goods discharged in the port of Sydney. As his Honour points out, while to enable such persons to contract out of liability may reduce freight and stevedoring rates, it may also tend to increase insurance premiums for consignees. The vice lies in the relative inability of the latter, although bearing the burden of increased premiums, or of their insurers, to insist upon reasonable diligence on the part of the employees of the carrier or its contractors; they wholly lack the power to control those employees. At the same time the carrier and its contractors, in a position to exercise control and supervision, lack the incentive to do so which the sanction of increased premiums or possible liability involves. This divorcing of the power of control from any liability for the consequences of its non-exercise not only attracts that natural antipathy to exemption clauses and to the saving of "grossly negligent people from the normal consequences of their negligence", of which Fullagar J spoke in *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* (1956) 95 CLR 43 at p 71, but may also be thought to be positively undesirable in the public interest.

There is a further public policy consideration which at one and the same time bears upon the question of international commercial comity. While it is in the interests of great fleet-owning nations that their ocean carriers, and the servants and independent contractors which they employ, should be as fully protected as possible from liability at the suit of shippers and consignees, the interests of those nations which rely upon those fleets for their import and export trade is to the contrary. It was in response to such national interests that the United States of America and [259] Australia, which both fell into the latter category, enacted the *Harter Act of 1893* and our own *Sea Carriage of Goods Act 1904*, measures which circumscribed the carrier's freedom to contract out of liability. Each was more stringent than were the subsequent Hague Rules. Many nations, particularly developing nations, have come to regard those Rules as unduly favouring carriers at the expense of cargo owners, especially because of the quite restricted duration of the carrier's compulsory period of responsibility which they impose, ending as it does immediately upon discharge. It is not clear to me that Australian courts should regard it as in any way in the public interest that carriers' exemption clauses, effective before loading and after discharge, should be accorded any benevolent interpretation, either so as to benefit carriers or so as to benefit independent contractors by extending the scope of such clauses to include such contractors. If public policy does not dictate such a course, neither do considerations of comity. To read the transactions of the seminars on International Trade organized by the Attorney-General's Department is to appreciate the powerful movement among trading nations in a contrary direction, towards extension of the period during which both the ocean carrier and its land-based agents are to be denied the ability freely to exclude themselves from liability for damage to or loss of cargo. The draft Convention on carriage of goods by sea adopted at the ninth session of the *United Nations Commission on International Trade Law* (UNCITRAL) in 1976 provides evidence of this …

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[260] If, contrary to the views which I have expressed, cl 2 of the bill of lading is effective to confer immunities upon the stevedore while engaged in the actual discharge of the vessel, does it also afford protection to the stevedore after completion of discharge but before a consignee has actually taken delivery of the goods and removed them from the wharf area? [Stephen J went on to find that it did not and that, accordingly, the appeal should be dismissed.]

[11.45] MASON AND JACOBS JJ: [271] The theory underlying the contract which arises between the shipper and the stevedore is that the carrier contracts on behalf of the stevedore, there being a promise on the part of the shipper to exclude the stevedore's liability in the circumstances envisaged by cl 2. This promise becomes binding on the stevedore's discharging the goods, notwithstanding that he is bound to do that act by virtue of his independent contract with the carrier. So it was held in *The Eurymedon*.

Despite this decision the Court of Appeal considered itself free to hold that the shipper's offer to exempt the appellant did not give rise to a binding contract in the present case, because the discharge of the goods did not constitute valuable consideration, there being aliunde a binding promise by the appellant to do that work under its contract with the carrier. In arriving at this conclusion the Court of Appeal took the view that the evidence established no more than the appellant discharged the goods from the ship, with knowledge of the shipper's offer to exempt it from liability. The court pointed out that when conduct is relied on as an acceptance of, and as the consideration for, an offer, the acceptor must be shown to have acted in reliance on the offer: *The Crown v Clarke* (1927) 40 CLR 227. There is nothing in the process of reasoning to this point with which we would disagree. But their Honours appear to have overlooked the circumstance that proof of performance of the conditions to an offer by a person who knows of its existence will in general constitute prima facie evidence of acceptance of the offer. The position in our view is correctly stated by Starke J in *The Crown v Clarke* (at 244), where his Honour was [272] discussing an offer of a reward for the giving of information, as follows:

> In my opinion the true principle applicable to this type of case is that unless a person performs the conditions of the offer, acting upon its faith or in reliance upon it, he does not accept the offer and the offeror is not bound to him. As a matter of proof any person knowing of the offer who performs its conditions establishes prima facie an acceptance of that offer … It is an inference of fact and may be excluded by evidence.

The observations made by the court in *Australian Woollen Mills Pty Ltd v Commonwealth* (1954) 92 CLR 424 at 456-7, do not displace what Starke J said. There it was held that an announcement made by the Commonwealth that a subsidy would be paid to manufacturers on wool purchased and used for local manufacture after a certain date did not constitute a request or invitation to purchase wool. Accordingly it was not an offer capable of ripening by acceptance into a contract …

[273] In the *Australian Woollen Mills* case the court was directing its attention primarily to the character of the statement relied on as an offer. The court did not suggest that oral evidence of reliance on an offer was necessarily or generally required. The point made was that there is no fertile ground for inference of reliance on an offer unless a request, and consequentially an offer, is established by the evidence.

In our view the Court of Appeal in the present case could and should have drawn the inference that the appellant discharged the goods in reliance on the shipper's promise or offer of which it was aware. The contract here is indistinguishable from the contract upheld by the Judicial Committee in *The Eurymedon*. Of that contract Lord Wilberforce had this to say (at 167):

> If the choice, and the antithesis, is between a gratuitous promise, and a promise for consideration, as it must be in the absence of a tertium quid, there can be little doubt which, in commercial reality, this is. The whole contract is of a commercial character, involving service on one side, rates of payment on the other, and qualifying stipulations as to both. The relations of all parties to each other are commercial relations entered into for business

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> reasons of ultimate profit. To describe one set of promises, in this context, as gratuitous, or nudum pactum, seems paradoxical and is prima facie implausible.

In such a context an inference that the stevedore has acted in reliance on the shipper's promise or offer is so much more compelling than the inferences which were sought to be drawn in the situations which arose in *The Crown v Clarke* (where the information for which a reward was offered was given in equivocal circumstances) and in the *Australian Woollen Mills* case.

Common sense and knowledge of human affairs indicate the evident probability of the appellant acting in reliance on the shipper's promise or offer when he discharges the goods so long as he has knowledge of the existence of that promise or offer. Once accepted by performance of the services, it conferred protection upon the appellant, in terms of cl 2 of the bill of lading, without subjecting the appellant to any countervailing or consequential detriment. There was therefore strong reason for thinking, and no reason for denying, that the stevedore acted in [274] reliance on the offer in performing those services which fell within cl 2 of the bill of lading.

Accordingly, we are unable to share the Court of Appeal's view on this aspect of the case …

[281] In our opinion, the reasoning underlying the implication in *The Eurymedon* of a contract between shipper and stevedore is that there can be found to exist an agreement between shipper and stevedore that where in particular circumstances the carrier has the benefit of a clause giving immunity or limitation, then in those circumstances the stevedore shall be entitled to rely on that same immunity or limitation to which the circumstances have given rise. The reasoning underlying the finding of a contract between shipper and stevedore is that the immunity or limitation is transferred, that what has been called a vicarious immunity or limitation of action arises in favour of the stevedore. It would be a great extension of *The Eurymedon* doctrine to apply it to a case where the immunity or limitation of action is not one which the carrier, its servants and agents (including independent contractors) all could claim, but is one where no liability would arise in the circumstances in the carrier. It is not an extension which in our opinion ought to be made. There was something commercially unreal in the way legal principle could be applied to give a sea carrier an immunity but at the same time to deny it to his servant or his agent even though an immunity in their favour was intended. The benefit of the immunity could for instance be lost to the carrier if under the general law or as a result of a particular contract he was bound to indemnify his servant or agent. However, if the negligence of the independent contractor is not negligence for which the carrier would, in the absence of the immunity or limitation clauses, be vicariously liable but is the sole responsibility of the independent contractor, the expressed reasons of the majority in *The Eurymedon* cease to be applicable …

[283] In the present case the goods were allowed to be loaded on to the thieves' truck but the loading was not an unconditional but mistaken delivery of the goods. The loading was on condition that a delivery order and copy of the bill of lading be exchanged for a gate pass in respect of the goods. The thieves, once the goods had been loaded, drove off and forced their way through the gate. The negligence lay in a system which allowed a conditional loading of the goods, not in delivering the goods without requiring a copy of the bill of lading. It was a failure to keep the goods safely on the wharf and it makes no difference that the loss of the goods occurred, not by pilfering or robbery, but by tricking the servants of the respondent into allowing the goods to be loaded on to a vehicle and then forcing a way out of the wharf. It follows therefore that the appellant stevedore did not as agent for the carrier misdeliver the goods; rather, it as bailee failed to take reasonable care of the goods. This separate act of negligence was not the subject of cl 2 of the bill of lading and therefore the appellant was not entitled to rely on the limitation of action provision in cl 17.

[11.50] MURPHY J: [284] As *The Eurymedon* shows, there is no great difficulty in finding a theory to justify extending to a stevedore the immunities and other advantages which are expressed to be [285] extended to it by a bill of lading. If the adoption of such a theory as part of our decisional law would serve Australia's interests, this should be done. However, the overseas carriage of goods and the stevedoring industry are enmeshed by restrictive practices. Australian importers have no real freedom in their arrangements; to regard these as being in the area of contract is a distortion. The bill of lading

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in this case shows that, although there are references to the carrier's obligations, the thrust of the document is to relieve the carrier and its agents from virtually all responsibility. I agree with Stephen J's observations on the aspects of public interest.

My conclusion is that a contract should not be conjured up out of the circumstances in order to extend the exemptions and immunities under the bill of lading to the stevedore. For this reason, I would dismiss the appeal.

Appeal dismissed.

[11.55] **Notes**

1. The principles enunciated in the *Port Jackson Stevedoring case* have been applied to carriage of goods by road: *Celthene Pty Ltd v WKJ Hauliers Pty Ltd* [1981] 1 NSWLR 606; *Life Savers (A/asia) Ltd v Frigmobile Pty Ltd* [1983] 1 NSWLR 431; *Toll (FGCT) Pty Ltd v Alphapharm Pty Ltd* (2004) 219 CLR 165.
2. As to the policy arguments made by Stephen and Murphy JJ and the commercial implications of the decision, see Tedeschi, "Consideration, Privity and Exemption Clauses" (1981) *55 Australian Law Journal* 876.

CIRCUMVENTING THE PRIVITY RULE: TRIDENT V MCNIECE

Trident General Insurance v McNiece Bros

[11.60] *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: In 1977, Blue Circle Southern Cement Ltd (Blue Circle) entered into a contract of insurance with Trident General Insurance Co Ltd (Trident) in respect of Blue Circle's limestone crushing operation. Trident agreed to indemnify "the Assured against all sums which the Assured shall become legally liable to pay in respect of … bodily injury to … any person". "The Assured" was defined as "Blue Circle, all its subsidiary, associated and related companies, all contractors and subcontractors and/or suppliers". McNiece Bros Pty Ltd (McNiece) was engaged by Blue Circle as principal contractor for construction work being carried out at the limestone crushing plant. In 1979, Gary Hammond, who was working under the direction of the McNiece site engineer, was seriously injured while driving a crane at the construction site. McNiece was held liable to pay damages to Hammond. McNiece sought indemnity from Trident under the insurance policy which Blue Circle had taken out. Trident denied liability on the grounds that McNiece was not a party to the contract between Trident and Blue Circle and had not provided any consideration for the promise to indemnify. The trial judge (Yeldham J) and, on appeal, the Court of Appeal, held in favour of McNiece. In the Court of Appeal ((1987) 8 NSWLR 270), McHugh JA, with whom Hope and Priestley JJA agreed, held that McNiece was not a party to the contract between Blue Circle and Trident but found that McNiece was entitled to sue directly on the policy because:

> this court should now declare that at common law a non-party assured is, and has been for some time at common law, able to sue on a written policy of liability insurance. In truth the

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> position in respect of liability insurance policies is, and has been for some time, the same as that in respect of bankers' letters of commercial credit … That is to say, although once not enforceable because of the privity of contract doctrine, commercial necessity, practice and widespread use have combined to create an exception which the common law will now enforce.

Trident appealed to the High Court.]

MASON CJ AND WILSON J: [113] Although the principle that only a party to a contract can sue on it is described as fundamental, the early common law permitted third [114] parties to enforce contracts made for their benefit: see Flannigan, "Privity – The End of an Era (Error)" (1987) 103 *Law Quarterly Review* 564 at 564–5, esp fn 6. The decision in *Bourne v Mason* (1669) 1 Vent 6; 86 ER 5 marked the beginning of a shift in the attitude of the common law. In that case the third party, who failed in his action on the contract, was described as "a mere stranger to the consideration": at 7. Thereafter, until *Tweddle v Atkinson* (1861) 1 B & S 393; 121 ER 762, the question whether the third party could bring an action on the contract was the subject of conflicting decisions. Compare, for example, *Pigott v Thompson* (1802) 3 Bos & Pul 147; 127 ER 80 and *Carnegie v Waugh* (1823) 1 LJ (KB) 89 (where the court upheld the right of the third party to enforce the contract) with *Price v Easton* (1833) 4 B & Ad 433; 110 ER 518 (where the court denied the third party's entitlement to sue on the contract). With reference to the common law before 1861, Windeyer J observed in *Coulls v Bagot's Executor & Trustee Co Ltd* (1967) 119 CLR 460 at 498: "The law was not in fact 'settled' either way during the 200 years before 1861. But it was, on the whole, moving towards the doctrine that was to be then and thereafter taken as settled."

The received doctrine is that *Tweddle v Atkinson* decided that a third party cannot sue on a contract for his benefit, though Denning LJ considered that it was wrongly decided: *Smith and Snipes Hall Farm Ltd v River Douglas Catchment Board* [1949] 2 KB 500 at 514; *White v John Warwick & Co Ltd* [1953] 1 WLR 1285; [1953] 2 All ER 1021. There is much to be said for the view that the ratio of *Tweddle v Atkinson* was that the plaintiff third party failed because no consideration moved from him. However, this view was not accepted in the years that followed: see, for example, *Gandy v Gandy* (1885) 30 Ch D 57 at 69. The decision in *Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd* [1915] AC 847 firmly entrenched the two principles in the common law of England. So much emerges from the speech of Lord Haldane: at 853. The Privy Council in *Vandepitte v Preferred Accident Insurance Corp of New York* [1933] AC 70 at 79 subsequently applied to the law as stated in *Dunlop* by Lord Haldane to a policy of insurance covering a motor vehicle by which the insurer agreed to indemnify the insured and anyone [115] operating the car with the permission of the insured against third party risks. In the result the insurer was not liable under the policy in respect of a judgment obtained against the insured's daughter for damages for personal injury caused by her negligent driving of the motor vehicle. The Privy Council recognised (at 79) that the common law rules are qualified by the equitable principle that a party to a contract can constitute himself a trustee for a third party of a right under a contract so that the third party can enforce the promise, making the promisee-trustee a defendant in an action against the promisor. However, Lord Wright went on to say (at 79–80) that: "the intention to constitute the trust must be affirmatively proved: the intention cannot necessarily be inferred from the mere general words of the policy."

This court has hitherto accepted that a third party cannot sue upon a contract and that a stranger to the consideration cannot maintain an action at law upon it: see, for example, *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* (1956) 95 CLR 43 at 56 per Williams J, 67 per Fullagar J (with whom Dixon CJ agreed), 80 per Kitto J, 91 per Taylor J; *Coulls* at 478 per Barwick CJ, 482–3 per McTiernan J, 486–7 per Taylor and Owen JJ, 494 per Windeyer J.

So far we have proceeded on the footing that there are two distinct common law rules. This accords with the law as Lord Haldane stated it in *Dunlop*: at 853. See also *Vandepitte* (at 79); *Kepong Prospecting Ltd v Schmidt* [1968] AC 810. However, as Windeyer J noted in *Coulls* (at 494), there is an opposing view that the two rules are but one. In other words, to say that A is not a

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party to the contract is to say only that he is not a person who gave a promise in exchange for another: see Coote, "Consideration and the Joint Promisee" [1978] *Cambridge Law Journal* 301 at 309–10; Furmston, "Return to *Dunlop v Selfridge*?" (1960) 23 *Modern Law Review* 373 at 383–5. As a matter of history this view has much to support it. The consideration requirement was the nub of the earlier cases. The privity requirement seems to have gained acceptance either as an alternative way of asserting the consideration requirement or as a byproduct of it. Nevertheless the weight of authority points to the existence of two distinct, albeit interrelated, principles. Thus, if A, B and C are parties to a contract and A promises B and C that he will [116] pay C $1 000 if B will erect a gate for him, C cannot compel A to carry out his promise, because, though a party to the contract, C is a stranger to the consideration: see Law Revision Committee (Eng), Sixth Interim Report, *Statute of Frauds and the Doctrine of Consideration* (Cmd 5449, 1937), para 37. Contrast para 41 of that report and its discussion of the privity rule. For the purposes of the present case and contracts for the benefit of third parties, however, it is of little consequence whether the rules are in fact separate.

These "fundamental" traditional rules, where they survive, have been under siege throughout the common law world. In the United Kingdom the Law Revision Committee, which included many distinguished lawyers under the chairmanship of Lord Wright, recommended the abolition of the consideration rule and the privity rule in its Sixth Interim Report. The Committee described the consideration rule in its application to the example given in the last paragraph as lacking any reason in logic or public policy: para 37. The Committee stated that the English common law (an expression which, in the context of the report in 1937, may be taken to include the Australian common law) was alone among modern systems of law in its insistence on the privity rule and observed that the United States had taken steps to mitigate the rigour of the rule. Even in England, the Committee noted, Parliament had found it necessary to create legislative exceptions: para 41. The Committee went on to make the point that the trust concept as applied to the promise for the benefit of the third party had not proved to be a satisfactory solution because there was uncertainty surrounding the approach of the courts to the recognition of a trust: para 44. Another criticism of the trust concept was that, once created, the trust was not revocable by the promisor or the promisee: para 47. A third comment was that insistence on the privity rule casts doubts on the enforceability of bankers' commercial credits by sellers of goods as against the banker setting up the credit: para 45. The final point made by the Committee was that the position of the third party is more analogous to that of an assignee of a contractual right than to that of a cestui que trust: para 46.

The Committee recommended that the statutory recognition of third party rights should be carefully limited. The proposed limitations were: (1) no third party right should be acquired unless given by the *express* terms of the contract; (2) the promisor should be able to raise against the third party any defence available against the promisee; and (3) the right of the promisor and of the promisee to cancel the contract at any time should be preserved unless the third party has received notice of the agreement and has adopted it. It might be noted that this regime is much like that which has [117] developed in the United States. There, the problems arising from the traditional rules have been avoided by not requiring that consideration move from the promisee to the promisor: see Farnsworth, *Contracts* (1982), ss 2.3, fn 9, 10.2. As it stands now in most American States, third parties can sue directly upon contracts made for their benefit by others: see generally *Restatement, Second, Contracts* (1979), Ch 14.

Despite the criticisms and the proposals for reform, the traditional rules survive in the United Kingdom: see, for example, *Scruttons Ltd v Midland Silicones Ltd* [1962] AC 446; *Beswick v Beswick* [1968] AC 58; *Woodar Investment Ltd v Wimpey Ltd* [1980] 1 WLR 277; [1980] 1 All ER 571. Legislative procrastination prompted Lord Reid in 1968 to suggest that, if there were to be a further long delay, then the House of Lords might be compelled to deal with the question: *Beswick* at 72. Similarly, Lord Scarman, supported by Lord Keith of Kinkel, expressed the view in 1980 that the House of Lords might "reconsider *Tweddle v Atkinson* and the other cases which stand guard over this unjust rule": *Woodar* at 300; 591. In *Swain v Law Society* [1983] 1 AC 598 at 611, Lord Diplock described

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the doctrine of privity as "an anachronistic shortcoming that has for many years been regarded as a reproach to English private law". And in this country, Windeyer J reflected similar sentiments to those of Lord Scarman when he referred in *Olsson v Dyson* (1969) 120 CLR 365 at 393 to the possibility "that someday this court too, expounding the common law as Australia has inherited it, will see the way clear" to reform the traditional rules.

In Western Australia dissatisfaction with those rules has resulted in the enactment of s 11 of the *Property Law Act 1969* (WA), which confers in certain circumstances a right on a third party to sue on a contract for his benefit. In 1973 the Queensland Law Reform Commission recommended that the law be amended so as to allow that a contract conferring a benefit on a third party should be enforceable by him in his own name: see Report No 16, cl 55 of the draft Bill and the commentary on that provision. The recommendation was adopted and is expressed in s 55 of the *Property Law Act 1974* (Qld). And in New Zealand the *Contracts (Privity) Act 1982* (NZ), like the Queensland Act, allows the third party to enforce a contract made for his benefit by imposing an obligation on [118] the promisor in favour of the third party where the parties intend that the third party should be able to enforce the provision for his benefit: compare *Property Law Act 1974* (Qld), s 55(6)(c)(ii) with *Contracts (Privity) Act 1982* (NZ), ss 4, 8.

The Australian Law Reform Commission in its Report No 20 on Insurance Contracts noted (at para 122) that *Vandepitte* had been legislatively displaced in all Australian jurisdictions in respect of compulsory third party insurance. Otherwise the Commission acknowledged that *Vandepitte* was alive and well, well enough to cause injustice to third parties. Indeed, as the Commission observed, *Vandepitte* was invoked by an insurer as a defence to an action on a policy by a person, not a party to the contract, who fell within the class of persons expressed to be insured: *Jovanovic v Broers* (1979) 25 ACTR 39. The Commission, concluding that the problems could not be solved by the application of the principles of trust and agency, recommended that persons falling within the class of persons expressed by a policy to be entitled to indemnity should be able to sue on the policy. The Commission stated (para 124) that this alteration in the law should be uncontroversial because most insurers already act as though they were under such a liability to such persons. Section 48 of the *Insurance Contracts Act 1984* (Cth) gives effect to this recommendation.

There is much substance in the criticisms directed at the traditional common law rules as questions debated in the cases reveal. First, there is the vexed question whether the promisee can recover substantial damages for breach by the promisor of his promise to confer a benefit on the third party. The orthodox view is that ordinarily the promisee is entitled to nominal damages only because non-performance by the promisor, though resulting in a loss of the third party benefit, causes no damage to the promisee: see *West v Houghton* (1879) 4 CPD 197; *Viles v Viles* [1939] SASR 164; but compare *Drimmie v Davies* [1899] 1 IR 176. On the other hand, Lush LJ in *Lloyd's v Harper* (1880) 16 Ch D 290 at 321 said: "I consider it to be an established rule of law that where a contract is made with A for the benefit of B, A can sue on the contract for the benefit of B, and recover all that B could have recovered if the contract had been made with B himself."

Windeyer J in *Coulls* (at 501) thought, correctly in our opinion, that Lush LJ was referring to a contract where A was trustee of the promised benefit for B, a view in which Lord Upjohn acquiesced in [119] *Beswick*: at 101. Windeyer J went on to say that the promisee could recover more than nominal damages in a situation in which he had sustained actual loss or damage by reason of the promisor's breach of his promise to confer a benefit on the third party. Plainly his Honour correctly stated the law in this respect. His Honour then (at 502) expressed his disagreement with suggestions by Lord Esher MR and Fry LJ in *Cleaver v Mutual Reserve Fund Life Association* [1892] 1 QB 147 at 153, 157, 158 that the promisee could recover not unliquidated damages but any sum which the promisor had agreed to pay to the third party.

It is clear enough that the availability of an action for damages at the suit of the promisee for breach of the promise to benefit the third party is not a sufficient sanction to secure performance of the promise. What is more, the uncertain status of the decision in *Jackson v Horizon Holidays Ltd* [1975]

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1 WLR 1468; [1975] 3 All ER 92 is a telling indictment against the law as it presently stands. There, the plaintiff recovered substantial damages for the travel company's breach of contract to provide a satisfactory family holiday, but the basis on which the decision can be supported is by no means clear, even after the comments by the House of Lords in *Woodar* (at 283–4, 291, 293, 297; 576–7, 584, 588). Rules which generate uncertainty in their application to ordinary contracts commonly entered into by the citizen call for reconsideration.

Next, there is the question whether the contract to confer a benefit on the third party is capable of specific performance. In *Coulls* Barwick CJ considered (at 478) that where a promisor promises to make a payment to a third party the promisee may obtain specific performance of the promise, at least where the nature of the consideration would have allowed the remedy. Windeyer J went even further, asserting (at 503) that contracts to pay money or transfer property to a third party are always or very often contracts for breach of which damages are an inadequate remedy and that on this ground such contracts are susceptible of specific performance. We agree with his Honour's comment and with his additional observations (at 503) which point the way to a more general recognition of the availability of specific performance as a remedy. As Lord Upjohn noted in *Beswick* (at 102): "Equity will grant specific performance when damages are inadequate to meet the *justice* of the case" (our [120] emphasis). See also the dissenting judgment of Sir Garfield Barwick in *Loan Investment Corp of Australasia v Bonner* [1970] NZLR 724 at 742. There is no reason to doubt that the courts will grant specific performance of a contract of indemnity or insurance, even if it involves payment of a lump sum, at least where the payment is to be made to a third party, damages being an inadequate remedy. But, even if we assume the availability of specific performance at the suit of the promisee in a wide variety of situations, there are nonetheless situations, such as that in *Jackson v Horizon Holidays Ltd*, where specific performance is not a suitable remedy and damages are inadequate. In these situations the incapacity of the third party to sue means that the law gives less protection to the promisee and the third party than the promisor: see Collins, *The Law of Contract* (1986), p 107. And, assuming the availability of specific performance, the third party is nonetheless dependent on the willingness of the promisee to exercise his rights, in the absence of a trust, an agency relationship or an enforceable agreement between the promisee and the third party.

Then there is the trust of the contractual promise on which the appellant places particular reliance as a palliative of the difficulties generated by the common law principles. Despite the insistence in *Vandepitte* (at 79–80) and *Re Schebsman* [1944] Ch 83 at 104, on the need for a clear expression of intention to create a trust and the warning that such an intention cannot necessarily be inferred from general words, there are a number of authorities which justify the difficulty expressed by Fullagar J in understanding the reluctance of the courts sometimes to infer trusts: *Wilson*, at 67. In *Robertson v Wait* (1853) 8 Ex 299; 155 ER 1360; *Lloyd's v Harper; Les Affréteurs Réunis Société Anonyme v Leopold Walford (London) Ltd* [1919] AC 801; and *Williams v Baltic Insurance Association of London Ltd* [1924] 2 KB 282 the courts readily inferred the existence of a trust from the circumstance that the contract was made for the benefit of a third party. The contrast between *Vandepitte* and *Williams* is striking. Both cases concerned motor vehicle insurance policies expressed to cover persons driving the vehicle apart from the insured. Fullagar J's comment followed a reference to the two decisions. See also "Notes" (1933) 49 *Law Quarterly Review* 474. As we have seen, critics of the common law rules have pointed to the uncertainty surrounding the [121] circumstances in which the courts will recognise a trust in contracts for the benefit of third parties as a reason for rejecting the trust concept as a sufficient answer to the difficulties caused by those rules: Corbin, "Contracts for the Benefit of Third Persons" (1930) 46 *Law Quarterly Review* 12 esp at 17.

This apparent uncertainty should be resolved by stating that the courts will recognise the existence of a trust when it appears from the language of the parties, construed in its context, including the matrix of circumstances, that the parties so intended. We are speaking of express trusts, the existence of which depends on intention. In divining intention from the language which the parties have employed the courts may look to the nature of the transaction and the circumstances, including

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commercial necessity, in order to infer or impute intention. See *Eslea Holdings Ltd v Butts* (1986) 6 NSWLR 175 at 189.

But, even if adherence to this approach produces greater consistency of outcome, there are still the cases where the third party has no remedy because there is no sufficient intention to create a trust. And there are other consequences which flow from recognising the existence of a trust. It may circumscribe the freedom of action of the parties to the contract, especially the promisee, to a greater extent than the existence of a right to sue on the part of the third party. How can the promisee terminate the trust once it is created? Lest it be overlooked, we should mention that the creation of a third party trust rests on ascertaining the intention of the promisee, rather than on the intention of the contracting parties. And in the ultimate analysis it seems incongruous that we should be compelled to import the mechanisms of a trust to ensure that a third party can enforce the contract if the intention of the contracting parties is that he should benefit from performance of the contract. A fortiori is that so if the intention common to the parties is that the third party should be able to sue the promisor.

In order to justify the privity and consideration rules in the face of these problems, three practical policy considerations are sometimes invoked. First, they preclude the risk of double recovery from the promisor by the third party as well as the promisee. If the third party is permitted to sue, the risk of double recovery arises from the possibility that the one party may seek specific performance after another has recovered damages. The risk is insignificant; joinder of all parties in the first action will make the resulting decision binding on all.

The second point is that the privity requirement imposes an [122] effective barrier to liability on the part of a contracting party to a vast range of potential plaintiffs. This may be significant in the case of government contracts intended to benefit a class of persons: see, for example, *Martinez v Socoma Companies Inc* 521 P 2d 841 (1974). But it is difficult to justify the existence of a rule by reference to one of its indirect results, if in other respects its operation is unsatisfactory.

The third matter is more important. The recognition of an unqualified entitlement in a third party to sue on the contract would severely circumscribe the freedom of action of the parties, particularly the promisee. He may rescind or modify the contract with the assent of the promisor, arrive at a compromise or assign his contractual rights. He may even modify the contract so that he diverts to himself the benefit initially intended for the third party. Professor Corbin suggested that any entitlement in the third party to enforce the provision in his favour would necessarily exist at the expense of the rights, privileges and liberties that the contracting parties enjoy under the common law rules: "Third Party Beneficiary Contracts in England" (1968) 35 *University of Chicago Law Review* 544 at 549. But this does not entirely follow. The entitlement of the third party to enforce the provision in his favour can be subordinated to the right of the contracting parties to rescind or modify the contract, in which event the third party would lose his rights except in so far as he relied on the promise to his detriment: compare *Restatement*, s 311(3). To subordinate the third party's entitlement in this way would accord with legal principle and with the protection of the interests of the parties to the contract. There is to our minds no compelling reason why the interests of the third party should be preferred, though we acknowledge that in Queensland the parties lose their right to rescind and modify the contract without the third party's consent on the third party's acceptance of it (*Property Law Act 1974* (Qld), ss 55(2), 55(3)(d)) and in Western Australia on the third party's adoption of the contract: *Property Law Act* 1969 (WA), s 11(3); see *Westralian Farmers v Southern Meat Packers* [1981] WAR 241 at 246, 251. The Queensland and Western Australian qualifications trace back to the recommendations of the English Law Revision Committee in 1937.

Should it be a sufficient foundation for the existence of a third party entitlement to sue on the contract that there is a contractual intention to benefit a third party? Or, should an intention that the third party should be able to sue on the contract be required? Under s 48 of the *Insurance Contracts Act 1984* (Cth) and in the United [123] States an intention to benefit a third party alone is necessary and that seems to be the position in Western Australia. But in Queensland (*Property Law Act 1974* (Qld), ss 55(1), 55(6)(c)(ii)) and in New Zealand (*Contracts (Privity) Act 1982* (NZ),

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ss 4, 8) an intention that the third party should be able to sue is required. This requirement again seems to have its origin in the recommendations of the English Law Revision Committee. As the contracting parties are unlikely to turn their attention to the enforcement by the third party, the ascertainment of this intention may well be fraught with similar problems to those that have surrounded the trust concept.

The variety of these responses to the problems arising from contracts to benefit a third party indicate the range of the policy choices to be made and that there is room for debate about them. A simple departure from the traditional rules would lead to third party enforceability of such a contract, subject to the preservation of a contracting party's right to rescind or vary, in the absence of reliance by the third party to his detriment, and to the availability in an action by the third party of defences against a contracting party. The adoption of this course would represent less of a departure from the traditional exposition of the law than other legislative choices which have been made. Moreover, as we have seen, the traditional rules, which were adopted here as a consequence of their development in the United Kingdom, have been the subject of much criticism and of legislative erosion in the field of insurance contracts. Regardless of the layers of sediment which may have accumulated, we consider that it is the responsibility of this court to reconsider in appropriate cases common law rules which operate unsatisfactorily and unjustly. The fact that there have been recent legislative developments in the relevant field is not a reason for continuing to insist on the application of an unjust rule as it stood before its alteration by the *Insurance Contracts Act 1984* (Cth).

In the ultimate analysis the limited question we have to decide is whether the old rules apply to a policy of insurance. The injustice which would flow from such a result arises not only from its failure to give effect to the expressed intention of the person who takes out the insurance but also from the common intention of the parties and the circumstance that others, aware of the existence of the policy, will order their affairs accordingly. We doubt that the doctrine of estoppel provides an adequate protection of the legitimate expectations of such persons and, even if it does, the rights of persons under a policy of insurance should not be made to depend on the vagaries of such an intricate doctrine. In the nature of things, the likelihood of some degree of reliance on the part of the third party in the case of a benefit to be provided for him under an [124] insurance policy is so tangible that the common law rule should be shaped with that likelihood in mind.

This argument has even greater force when it is applied to an insurance against liabilities which is expressed to cover the insured and its subcontractors. It stands to reason that many subcontractors will assume that such an insurance is an effective indemnity in their favour and that they will refrain from making their own arrangements for insurance on that footing. That, it seems, is what happened in the present case. But why should the respondent's rights depend entirely on its ability to make out a case of estoppel?

In the circumstances, notwithstanding the caution with which the court ordinarily will review earlier authorities and the operation of long-established principle, we conclude that the principled development of the law requires that it be recognised that McNiece was entitled to succeed in the action.

For the foregoing reasons, we would dismiss the appeal.

[11.65] BRENNAN J: (dissenting) [125] The declaration by the Court of Appeal that policies of liability insurance are a common law exception to the doctrine of privity of contract and that the exception has existed for some time may come as a surprise to those who have seen no reference to such an exception in the books ….

If policies of liability insurance are to be recognized as an exception to the doctrine, what are the features which might make them so? Excluding the principles of agency, trust and estoppel from consideration, what makes a "nonparty assured" who has furnished no consideration for a policy of loss insurance different from any other third party mentioned in a contract between promisor and promisee as a party who is to have the benefit of a promise? The difference suggested by McHugh JA

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was that commercial necessity, practice and widespread use, strengthened by analogy with modern statutes, established policies of loss insurance as exceptions to the doctrine of privity of contract. The fact that policies of loss insurance are frequently expressed to cover losses sustained by persons who are not parties to the contract and the fact that insurers ordinarily honour those contracts do not establish the kind of commercial practice that evokes the creation of a new principle of the common law. It may be that, where the voluntary acceptance of liability by an insurer does not account for the commercial practice and use of which his Honour spoke, those factors are to be accounted for by operation of the law of agency, trusts and estoppel. His Honour's proposition that it is commercially necessary to admit an exception to the doctrine of privity would be more supportable if it were found that those principles when applied in conjunction with the doctrine leave the law powerless to prevent or remedy injustice. But it was impossible to demonstrate such a defect in this case where agency was negatived on the facts and no occasion arose to consider the application of the principle of trust and estoppel.

Nor is the argument for a judicially created exception advanced by considering modern statutory provisions. As Dawson J points out, s 48 of the *Insurance Contracts Act 1984* (Cth) weakens rather than strengthens the proposition that a common law exception exists. That section creates in a person who is not a party to a contract of general insurance a statutory right to recover the [127] amount of his loss directly from the insurer if he was specified or referred to in the contract as a person to whom the insurance cover was provided. But the Parliament did not make that provision retrospective, and it cannot be inferred that the Parliament contemplated that cases arising before the Act came into force (this case being one of them) would be governed by provisions of the common law identical with those in the Act. I would add that I respectfully agree with what Dawson J has written about the limited use to which statute can be put in developing the common law.

To hold that policies of liability insurance are an exception to the doctrine of privity, some criterion must be found to distinguish the exception from the general rule. I can find none. Indeed, if the doctrine of privity should be overthrown in its application to policies of liability insurance, no reason either of policy or logic is advanced for retaining the doctrine for application to other contracts. It was acknowledged in the Court of Appeal that the doctrine of privity of contract is a fundamental rule of our common law, but that acknowledgment was followed immediately by an assertion (at 284) that:

> the injustice of the rule in some situations is so obvious that it has been the subject of prolonged and intensive criticism. Few could be found today who would agree with the opinion of Myers AJ, expressed in (1954) 27 ALJ 175, that no change should be made to the rule: although compare Barwick CJ in *Coulls* (1967) 119 CLR 460 at 478.

I am numbered amongst those who agree with Myers AJ, being fortified in that view by the observations of Barwick CJ (at 478) in the case referred to:

> It must be accepted that, according to our law, a person not a party to a contract may not himself sue upon it so as directly to enforce its obligations. For my part, I find no difficulty or embarrassment in this conclusion. Indeed, I would find it odd that a person to whom no promise was made could himself in his own right enforce a promise made to another.

Barwick CJ treated privity of contract as distinct from the related question of consideration and the distinction is well founded. However, in the same case Windeyer J observed (at 494): "Doubtless the two requisites merge in the strict view of a contract as a bargain, a promise for which the promisee has paid the price."

In this case, as McNiece was not a party to the contract and did not give consideration for Trident's promise, it is not necessary to pursue [128] the inquiry whether the two requisites merge. It is sufficient to focus on the doctrine of privity.

Privity is a doctrine which is both settled and fundamental, though it was not settled in England until the 19th century. In *Coulls v Bagot's Executor & Trustee Co Ltd* (1967) 119 CLR 460, Windeyer J

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referred to the uncertainty prior to 1861 about the right of third parties to bring assumpsit. He concluded (at 498):

> The fact is that the early cases are conflicting, because during the 16th, 17th and 18th centuries the doctrine of consideration in the common law was still in process of formation. Whether, and in what circumstances, third parties should be allowed to bring assumpsit was still debatable. The law was not in fact "settled" either way during the 200 years before 1861. But it was, on the whole, moving towards the doctrine that was to be then and thereafter taken as settled.

In 1861, *Tweddle v Atkinson* was decided. The law was then settled that "no stranger to the consideration can take advantage of a contract, although made for his benefit": at 398; 764 per Wightman J. The rule emerged in consequence of the development of the action of assumpsit, as the judgments of Crompton and Blackburn JJ show. It may be that, at least in the understanding of the profession if not in the reports of cases, the rule was settled before *Tweddle v Atkinson* was argued. In that case, the general proposition advanced by counsel for the defendant, supporting the demurrer, was: "a stranger to the agreement and to the consideration … cannot sue upon the contract", and that proposition was conceded by counsel for the plaintiff who sought unsuccessfully to bring the case within an exception to the general rule. The rule was affirmed by the House of Lords in *Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd* [1915] AC 847. Viscount Haldane LC said (at 853):

> My Lords, in the law of England certain principles are fundamental. One is that only a person who is a party to a contract can sue on it. Our law knows nothing of a jus quaesitum tertio arising by way of contract. Such a right may be conferred by way of property, as, for example, under a trust, but it cannot be conferred on a stranger to a contract as a right to enforce the contract in personam. A second principle is that if a person with whom a contract not under seal has been made is to be able to enforce it consideration must have been given by him to the promisor or to some other person at the promisor's request. These two principles are not recognised in the same [129] fashion by the jurisprudence of certain Continental countries or of Scotland, but here they are well established. A third proposition is that a principal not named in the contract may sue upon it if the promisee really contracted as his agent. But again, in order to entitle him so to sue, he must have given consideration either personally or through the promisee, acting as his agent in giving it.

… The doctrine of privity has been treated as settled not only by the House of Lords (*Beswick v Beswick* [1968] AC 58) but also by the Supreme Court of Canada (*Greenwood Shopping Plaza Ltd v Beattie* (1980) 111 DLR (3d) 257) and by this court. In *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* (1956) 95 CLR 43 Kitto J spoke (at 80) of "the elementary general rule that the only persons entitled to the benefits or bound by the obligations of a contract are the parties to it". See also *Birmingham v Renfrew* (1937) 57 CLR 666 at 675; *Coulls* at 478, 494 and *Olsson v Dyson* (1969) 120 CLR 365 at 392–3 per Windeyer J. The doctrine of privity has long been settled and it was settled as a doctrine of general application …

[131] It is submitted that the doctrine of privity sometimes produces unjust results and that this court should re-examine it in the light of the criticisms the doctrine has attracted. The criticisms, many of which have come from judges of great eminence and some of which may be traceable to the influence of Scots law, are rehearsed in the judgment of McHugh JA. Those criticisms tend to erode the acceptability of the doctrine and to facilitate the postulation of an exception. If it be asserted that the doctrine works injustice, an exception can be seen as a first step on a path leading to the heights of justice and therefore a step to be taken with judicial alacrity. If this case is to be decided not by [132] reference to the law as it is but by reference to the law as it ought to be, it is useful to consider the alternative paths by which the heights of justice might be scaled: the path followed by our law for over a century or a new path of doctrine.

According to the settled law, when A (a promisor) contractually promises B (a promisee) to confer a benefit on C, a third party who is not a party to the contract and who has given A no consideration

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for the promise, C acquires no right to sue A on the promise. Nor did the classical Roman law admit such a right in the third party: alteri stipulari nemo potest was Ulpian's statement of the law: Dig 45.1.38.17. The law of contract admits the capacity of persons who are sui juris to create by offer and acceptance rights and obligations binding as between each other.

A proposal that a contractual promise in favour of a third party should give rise to a common law right in C to sue A to enforce the promise goes further. The proposal postulates the capacity of the contracting parties to create rights as between the third party and the promisor. Moreover, it precludes application of the principles of trust to any case to which the proposed exception applies. If C's right were held to grow out of a contractual promise by A to B, it is hard to see how B might be the trustee of the promise for C: C could hardly have a legal right to the performance of A's promise while B retained the same legal right as trustee for C. The principles of trust would be irrelevant in such a case. Indeed, the proposal may postulate that B, though the promisee, loses the contractual right to performance of the promise by A, that right being conferred solely upon, or being transferred to, C. And, if the proposal postulates a cause of action in C while leaving B's cause of action intact, it would expose A to double liability. To postulate the creation of a legal right in C to enforce a third party promise against A is to postulate the creation of legal relationships between the three parties which the doctrines of our legal system are not presently able to define.

If a third party promise is to confer on C a common law right enforceable against A, do A and B retain a capacity to defeat C's right by varying or abrogating their contract or is C's right indefeasible on the making of the contract? If C's right becomes indefeasible, what makes it so? Does C become subject to any obligation under the contract? Does C's right or obligation depend on C's acceptance of it? Or does C's acquisition of the right against A automatically impose any associated obligation? Does B retain a right to enforce the promise against A? Can C and A vary the right without B's consent? Does B have any right to contribution from C in respect of the consideration for the promise? If want of consideration moving from C to A is no bar to C's cause of action, is [133] consideration moving from B to A essential? Does C lose his right to enforce the promise if he does not comply with the contractual conditions binding on B? Is B under a common law duty to C to perform the contract? Can A raise against C any defence which would be effective against B, for example, a set off? Legal systems which recognise the effectiveness of a third party promise to create a right in a third party to sue (a jus quaesitum tertio) give different answers to these questions ….

A variety of solutions can be devised for these and other problems raised by admitting a third party's right to sue. That is apparent [134] from the diversity of statutory provisions which have been enacted in order to confer on C a statutory right enforceable directly against A. Those provisions have become increasingly complex. The *Property Law Act 1969* (WA), s 11 contains relatively simple provisions; the *Property Law Act 1974* (Qld), s 55 is more detailed; and the *Contracts (Privity) Act 1982* (NZ) is yet more detailed and sophisticated. Their provisions are not uniform. For example, only Western Australia requires the intention to benefit the third party to be expressed in the contract. Queensland requires the third party to "accept" the contract and upon acceptance, the beneficiary may become subject to a duty enforceable against him. New Zealand alone extends the provisions of its Act to immunities and limitations on liability. Each of the Acts provides for discharge or variation of the promise without the beneficiary's consent in certain circumstances, but the prescribed circumstances are not the same in the respective Acts. It is vain to expect that the common law has a solution for the problems on which Parliaments assisted by Law Reform Commissions have differed. There is no Anglo-Australian common law by reference to which the conditions and incidents of a third party's right to sue can be ascertained. The legal systems which admit a jus quaesitum tertio see the relationships between A, B and C as a triangle … The Anglo-Australian common law is radically different: it sees the relationships as lineal: A and B linked by contract, B and C linked by trust or contract, A and C not linked unless B either proves to be C's agent to contract with A or assigns to C the obligation (debt or other property) owed to B by A. To admit a third party's right to sue into the common law, it would be necessary to postulate a new source of legal rights and obligations arising independently of contract and equity and to create a new set of rules prescribing the availability of the rights and the limits of

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the obligations to which the third party promise gives rise. And if such a new source of legal rights were postulated, our laws with respect to agency, trusts, estoppel and damages which have been constructed around the doctrine of privity of contract would have to be reworked.

Of course, the problems to which a third party promise gives rise must be addressed by any developed legal system, and the rules to govern these problems may be tentative in the earlier stages of development. Fundamental rules – that is, rules which fix a reference point for the development of subsidiary rules – may take some time to be settled. Once settled, the subsidiary rules can be developed. So it was with the English legal system.

The subsidiary rules which the courts have developed to solve the problems raised by a third party promise are sometimes described as [135] exceptions to the doctrine of privity, but (as Lord Reid suggested) the apparent exceptions are in truth applications of other legal principles to the contractual relationship of promisor and promisee. Fullagar J observed in *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* (at 67): "I doubt if there was any true exception at common law to the rule laid down by *Tweddle v Atkinson*."

The first so called exception is found in the law of trusts. A promisee may be or become a trustee of the promise for a third party: *Les Affréteurs Réunis Société Anonyme v Leopold Walford (London) Ltd* [1919] AC 801; *Vandepitte v Preferred Accident Insurance Corp of New York* [1933] AC 70. Where the promisee is a trustee, the third party acquires only an equitable interest in the promise. The third party does not become a party to the contract: *Construction Engineering (Aust) Pty Ltd v Hexyl Pty Ltd* (1985) 155 CLR 541. The contract binds only the promisor and promisee and the third party beneficiary cannot enforce the promise as if he were a party to the contract. The third party can enforce the promise indirectly in an action in which the promisee is joined as a defendant (*Vandepitte* at 79; *Birmingham v Renfrew* at 686) the promisee being an essential party in an action against the promisor: *Harmer v Armstrong* [1934] Ch 65. A second so called exception is found in the law of agency. If a putative promisee is merely an agent for a third party, the third party is the promisee and is privy to the contract: *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd* (1978) 139 CLR 231 and on appeal to the Privy Council (1980) 144 CLR 300; *ITO Ltd v Miida Electronics Inc* (1986) 28 DLR (4th) 641. The agency cases show that, unless the third party is in truth a promisee, he cannot take the benefit of the contract: see the discussion by McIntyre J of the cases relating to exemption clauses in *ITO Ltd v Miida Electronics Inc*, at 663–9; and compare *Construction Engineering (Aust) Pty Ltd v Hexyl Pty Ltd*. Neither the principles of trust nor the principles of agency are exceptions to the doctrine of privity. In their application to a third party promise, those principles proceed on the footing that the legal contractual right is vested solely in the promisee. There is no true exception to the doctrine of privity. If an exception were now introduced and a jus quaesitum tertio were recognised in respect of some contracts, the exception would raise at least as many [136] problems as it might solve. The field of jus quaesitum tertio may look greener, but the brambles are no fewer.

… As the common law knows of no exception to the doctrine of privity, it has developed no rules to condition the admission of a third party's right to sue …. A basic problem … is whether the third party's right to sue is intended by the parties to the contract to be irrevocable. If one or both of the contracting parties can revoke the third party's right to sue, the right is contingent on the continued will of the parties to the contract. Should this be sufficient to give a third party a common law right to sue? How could it be admitted that the third party has a right to sue on the policy if that right might be abrogated at any time without his knowledge and consent? … [137] If the insurer could be liable at the suit of the promisee, the admission of a third party's right to sue duplicates the causes of action on the promise. Presumably it is thought that the joinder of the parties in whom separate causes of action are vested is effective to extinguish one of the causes of action. But mere procedural steps do not extinguish substantive rights. Joinder of the promisee-party as a defendant would not discharge any cause of action vested in him. And if the proposed exception were treated as no more than conferring on the third party a right to sue on the single cause of action vested in the promisee so that either the beneficiary third [138] party or the promisee-party (but not both) might enforce it, what principle would govern a contest between them? … The difficulties encountered in propounding a set

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of rules to condition the proposed exception to the doctrine of privity demonstrate the undesirability of endeavouring now to overthrow the doctrine in whole or (what might be more confusing) in part.

If our legal history had taken a different turning in 1861, the problems raised by a third party promise would have been differently addressed. In the United States, two years before *Tweddle v Atkinson*, it was decided to admit a third party's right to sue when the third party is a creditor of the promisee: *Lawrence v Fox* 20 NY 268 (1859). The first and second *Restatements* reveal the great difference between the frames of reference within which American jurisprudence addresses the problems raised by a third party promise and the frames of reference within which Anglo-Australian jurisprudence addresses them. No one would suggest that the Anglo-Australian solutions are perfect. But our legal system has produced a tolerably coherent set of principles operating in conjunction with the fundamental doctrine of privity.

When a third party promise is in a contract to which the third party is not a party, the promise can be enforced only by an action brought by the promisee or to which the promisee is a party. The legal cause of action against the promisor is vested solely in the promisee. Double recovery is impossible. Where the promisor has promised to pay money to or otherwise to confer a benefit on the third party directly, the promisee may compel him specifically to perform his promise, for damages would be an imperfect remedy for the promisee: *Coulls* at 478, 502–3; *Beswick v Beswick* at 82, 89, 101–2. The availability of specific performance goes a long way towards shutting out injustice. Where damages are the appropriate remedy for breach of a promise to pay money to the promisee for the benefit of a third party, the promisee may recover the whole of the amount promised where the promisee is a trustee for the third party (*Lloyd's v Harper* (1880) 16 Ch D 290; *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* at 67; *Coulls* at 501; [139] *Beswick v Beswick* at 101) or an agent who is authorised by the contract to sue on behalf of the principal: *Lloyd's v Harper; Woodar Ltd v Wimpey Ltd* [1980] 1 WLR 277 at 284, 293–4, 297. These may not be the only cases in which a promisee may recover the full amount promised. It is still an open question whether a promisee who is neither a trustee for nor an agent of a third party can recover in some circumstances more than nominal damages if the promisor's breach of a promise which is intended to confer a benefit on a third party causes the promisee no personal loss: *Woodar Ltd v Wimpey Ltd* at 283–4. The speech of Lord Diplock in *The Albazero* [1977] AC 774 at 847, raises the question whether a promisee may recover in full what was lost by a third party provided the promisee is accountable to the third party for what he recovers. It is not appropriate in this case to decide the limits of the promisee's remedies. It is sufficient to note that the possibility of injustice which might be thought to flow from the effect of the doctrine of privity on the promisee's remedies depends on the rules relating to the measure of damages. If such a case of injustice should arise, it will be appropriate to consider what Windeyer J said in *Coulls* (at 504):

> it is, I think, a faulty analysis of legal obligations to say that the law treats a promisor as having a right to elect either to perform his promise or to pay damages. Rather, using one sentence from the passage from Lord Erskine's judgment which I have quoted above, the promisee has "a legal right to the performance of the contract". Moreover, we are concerned with what Fullagar J once called "a system which has never regarded strict logic as its sole inspiration": *Tatham v Huxtable* (1950) 81 CLR 639 at 649.

A development of the rules relating to damages rather than the acceptance of a third party's right to sue offers the prospect of an orderly development of the law if such a development be needed to avoid injustice.

If a third party were to complain of injustice on the ground that he has no right to cause the promisee to enforce a policy of loss insurance, the supposed injustice must arise because there is no relevant relationship between the third party and the promisee. Such a case can arise only if the third party is one (a) for whom the [140] promisee is not an agent, fiduciary or trustee, (b) who has no relevant contractual relationship with the promisee, and (c) who has not been induced to assume or expect that the policy covers the risk of loss by the third party by any representation made by the promisor or the promisee in circumstances which would entitle the third party to claim the benefit of

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the policy by estoppel: see *Waltons Stores v Maher* (1988) 164 CLR 387. Whether an injustice is likely to arise in such a case may be doubted, especially in modern times when the courts no longer feel the reluctance to infer the existence of a trust which courts felt in earlier times: see *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* at 67.

Of course, the question whether a trust has been constituted is related to the question whether the promisee reserves the right to agree with the promisor to vary or abrogate the promise. Consideration of the rights reserved by a promisee against the promisor and of the nature of the obligation accepted by the promisor may indicate that a trust of the benefit of the promise has been constituted. There is no reason to think that a system of law under which a third party's (equitable) right to sue depends on the existence of a trust is less likely to do justice than a system under which a jus quaesitum tertio is admitted. Indeed, it may be that the constitution of a trust as a criterion of a third party's right to sue is capable of adjusting more nicely the rights of promisor, promisee and third party. For example, if a third party's right to sue were admitted only when the terms of the contract show that the promisor and promisee intend the third party's right to be irrevocable, that right would be more inflexible than the right of a beneficiary under a trust who is able to sue even if the trust is revocable so long as it is not revoked: see *Wilson v Darling Island Stevedoring & Lighterage Co Ltd* at 67 per Fullagar J. Indeed, the injustice which could flow from a rigid criterion of irrevocability in Scotland arose in but was avoided by the judgment of the Court of Session in *Love v Amalgamated Society of Lithographic Printers* (1912) 2 SLT 50 at 52.

This is not the occasion to spell out the developments in the law of trusts, estoppel and damages which are needed if the law is finally to scale the heights of justice. This case did not raise those questions. I have referred to them merely to state my view that the appropriate path of legal development lies in those areas, not in the admission of a third party's right to sue. I think that is the path which accords with the views expressed by Sir Owen Dixon in his paper [141] *Concerning Judicial Method* which Dawson J cites in his judgment. In this case, McNiece endeavours to turn aside from the familiar path of privity, trust, agency and estoppel. But there is no other path unless we retrace our steps back at least to 1861. That is a course we ought not follow. It is a course we cannot follow. In my opinion, the relief which the Court of Appeal granted to McNiece was misconceived, and the appeal must be allowed.

[11.70] DEANE J: [143] Circumstances can undoubtedly arise in which accepted processes of legal reasoning require a court, usually a final appellate court, to reverse the development of the law by disowning established principle. However, where the established principle is as entrenched, by authority and in legal conception, as is the principle of privity, such a reversal can only be justified by precisely defined and compelling reasons advanced as part of a plainly identified process of legal reasoning. No such reasons are available to justify a wholesale abrogation of the general common law rule of privity of contract. [144] Indeed, I do not understand the contrary to have been suggested in the present case either in the courts below or in argument in this court. The New South Wales Court of Appeal, in upholding the learned trial judge's decision that the third party insured ("McNiece") was entitled to maintain proceedings for indemnity against the insurer ("Trident"), did not purport to displace the requirement of privity as a general rule. In argument in this court, senior counsel for McNiece expressly affirmed that he did "not, of course, invite [the court] to abrogate the doctrine of privity in its totality". What the Court of Appeal has held, and what McNiece has sought to maintain, is that, within the context of the general rule, a limited exception should be recognised in the field of liability insurance to enable a third party, who is specified or referred to (whether by name or otherwise) in the contract of insurance as a person to whom the insurance cover extends, to maintain a common law action against the insurer if "the court is satisfied" that it was "the intention of the parties" that the third party should have enforceable rights under the policy: see the judgment of Hope JA, with which Priestley JA agreed, in the Court of Appeal reported in (1987) 8 NSWLR 270 at 273–4.

It must, of course, be conceded that there has been considerable contemporary criticism by distinguished lawyers of the absence, in common law jurisdictions outside the United States of

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America, of any general direct right of action in a third party to enforce a promise contained in a contract between others. Much of that criticism has been advanced in the context of a call for legislative reform and has not been directed to seeking to lay a foundation for a judicial reversal of the law by some acceptable process of legal exegesis. Even in that context however, that criticism has (at least if viewed with the benefit of hindsight) often been flawed by an incomplete perception of the extent to which the practical effect of the rule of privity is confined and qualified, and to which the injustice which the rule might otherwise cause is precluded, by the application and development of other principles.

Of its nature, the rule of privity operates within the confines of the law of contract. Within those confines, it neither operates to deny the validity of a promise to benefit a third party nor hinders proceedings by the promisee against the promisor for specific performance of such a contractual obligation. That being so, the chose in action constituted by rights to enforce the promise will, in some circumstances, be susceptible of assignment by the promisee to the third party. Nor does the rule of privity preclude the promisee [145] from undertaking a collateral contractual obligation to the third party to institute and maintain such proceedings against the promisor for specific performance or to authorise the third party to maintain such proceedings for specific performance in the name of the promisee. If the promisee contracts as agent for a disclosed or undisclosed principal, the principal will ordinarily himself be, for the purposes of the requirement of privity, a party to the contract. If the terms of a contract incorporate a promise to benefit a third party in the form of an offer which is susceptible of being accepted by the third party, that third party can, at least if the consideration provided to the offeror under the head contract can be treated as having been provided (jointly or partly) by or on behalf of the third party (compare *Coulls* at 478–9, 486, 493), acquire direct contractual rights against the promisor by an appropriate acceptance of the offer.

If, within the confines of the law of contract, a third party who would be benefited by the performance of a contractual promise is left without redress, other principles of law operate (unhindered by the rule of privity) upon or within the context of contractual rights and obligations to avoid injustice in particular categories of case. The point can be conveniently illustrated by reference to a contract of the type involved in the present case, namely, a policy of liability insurance which includes a stranger to the contract among the persons whom the insurer promises to indemnify. If the insurer under such a policy induces, by his conduct, the third party to act to his detriment on the assumption that he is effectively indemnified under the policy, the insurer will, in an appropriate case, be estopped from denying the enforceability of such indemnity. Even if, in such a case, the assumption induced by the insurer is, upon analysis, an assumption as to future fact (for example, that the third party will, in the event of liability within the period of the policy, be effectively protected by the policy) the doctrine of estoppel by conduct would, in my view, be applicable to preclude the insurer from raising the requirement of privity of contract (or from denying enforceability or the existence of a trust of the promise) as a basis for a departure from that assumption as to future fact: compare *Waltons Stores (Interstate) Ltd v Maher* (1988) 62 ALJR 110 at 137–8; 76 ALR 513 at 559–60. Again, if the insurer under such a policy has received the moneys payable for the promised indemnity but has then refused to indemnify the third party on the ground that the third party was not a party to the contract of insurance, the circumstances could conceivably be such as to give rise to a cause of action by the third party against the insurer founded upon principles [146] of unjust enrichment: compare *Pavey and Matthews Pty Ltd v Paul* (1987) 162 CLR 221 at 227, 256–7; *Australia and New Zealand Banking Group Ltd v Westpac Banking Corp* (1988) 62 ALJR 292 at 295–6; (1988) 78 ALR 157 at 161–3. The path by which relief would be granted in such a case might well involve some reassessment of the extent of curial powers, both statutory and inherent, to mould the relief appropriate to do justice in the circumstances of a particular case: note, in that regard, the discussion in Birks' article, "Restitutionary Damages for Breach of Contract" (1987) *Lloyd's Maritime and Commercial Law Quarterly* 421 at 422ff. It is, however, unnecessary in the present case to embark upon a detailed examination of questions of estoppel by conduct or to seek to identify what, if any, circumstances could found an action in unjust enrichment by the third party against an insurer who has refused to honour the indemnity which he has been paid to provide. The reason why that is so is that it has not been suggested in the present

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case that Trident is estopped by its conduct from relying upon the rule of privity to deny liability to McNiece or that the circumstances are such as might arguably give rise to a right of action (in McNiece) founded on unjust enrichment. Nor has any reliance been placed, either in the judgments in the Court of Appeal or in argument in this court, upon the doctrine of estoppel by conduct or (except to the extent that they are reflected in the law of trusts) upon principles of unjust enrichment. If there be a doctrinal basis for the recognition by the Court of Appeal of a right of action in the third party assured to enforce the insurer's promise of indemnity in the present case, it must be found, either directly or by way of analogy, in the law of trusts.

In the course of his judgment in *Wilson v Darling Island Stevedoring*, Fullagar J (at 67) pointed to the fact that "equity could and did intervene in many cases" involving circumstances in which the common law requirement of privity could operate unjustly "by treating the promisee as a trustee of a promise made for the benefit of a third party, and allowing the third party to enforce the promise, making the promisee-trustee, if necessary, a defendant in an action against the promisor". His Honour went on to comment that it is "difficult to understand the reluctance which courts have sometimes shown to infer a trust in such cases": see, for a helpful discussion of the main earlier decisions, Starke, "Contracts for the Benefit of Third Parties, Pt IV" (1948) 22 *Australian Law Journal* 67 at 69. That comment of Fullagar J was, in my view, fully justified. [147] Indeed, the "reluctance" of courts to find a trust in such cases seems often to have been caused by a misunderstanding of the nature of equity's requirement of an intention to create an express trust, or put differently, by a failure to appreciate the innate flexibility of the law of trusts: compare *Adams v Champion* 294 US 231 at 237 (1935) per Cardozo J.

In equity, "intention alone will not constitute a trust obligation [and] … mere conduct without such intention is ineffectual to impose it, or, as *Lewin*, (12th ed), p 88, says, to 'impute' it": *Commissioner of Stamp Duties (Qld) v Jolliffe* (1920) 28 CLR 178 at 189 per Isaacs J and see, now, *Lewin*, (16th ed), at p 35. The requisite intention to create a trust of a contractual promise to benefit a third party can, however, be formed and carried into effect (either by the contract itself or some other act) by a promisee who would be bemused by the information that the chose in action constituted by the benefit of a contractual promise is property and uncomprehending of the distinction between law and equity. In that regard, the analogy of Molière's M Harpagon who unwittingly spoke poetry or "verse" would arguably have been a more instructive one than that of M Jourdain who merely spoke ordinary prose: see *Re Schebsman* [1944] Ch 83 at 104. In the context of such a contractual promise, the requisite intention should be inferred if it clearly appears that it was the intention of the promisee that the third party should himself be entitled to insist upon performance of the promise and receipt of the benefit and if trust is, in the circumstances, the appropriate legal mechanism for giving effect to that intention. A fortiori, equity's requirement of an intention to create a trust will be at least prima facie satisfied if the terms of the contract expressly or impliedly manifest that intention as the joint intention of both promisor and promisee.

A trust can attach to the benefit of the whole contract or of the whole or part of some particular contractual obligation. In the case of a policy of liability insurance under which the insurer agrees to indemnify both a party to the contract and others, there is no reason in principle or in common sense why the party to the contract should not hold the benefit of the insurer's promise to indemnify him on his own behalf and the benefit of the promise to indemnify others respectively upon trust for those others. Where the benefit of a contractual promise is held by the promisee as trustee for another, an action for enforcement of the promise or damages for its breach can be brought by the trustee. In such an action, the trustee can [148] recover, on behalf of the beneficiary, the damages sustained by the beneficiary by reason of breach. If the trustee of the promise declines to institute such proceedings, the beneficiary can bring proceedings against the promisor in his own name, joining the trustee as defendant.

An intention to create a trust of the benefit of a contractual promise can be evidenced and/or carried into effect by the contract itself or by action of the promisee aliunde. When the trust is created

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by the actual contract between promisor and promisee, the beneficiary can nonetheless properly be described as a stranger to the creation of the contract. Indeed, he may be quite unaware of its existence. It would, however, be misleading to say that the promisor, in such a case, is a stranger to the creation of the trust in that the overall effect of the contract itself, to which he is a party, may be that the relevant promise is made by him to the promisee in the latter's capacity as trustee for the designated beneficiary or class of beneficiaries and that the intention to create a trust which the contract manifests and carries into effect is a joint intention of both promisor and promisee who might both be regarded as settlors. It is unnecessary to consider here what, if any, rights or obligations in relation to the trust might be enjoyed by or imposed upon the promisor in such a case. What is relevant for present purposes is that, in such a case, there will ordinarily be neither need nor occasion to seek to identify some independent intention (that is, apart from that manifested in the contract) or action of the promisee. That is not, of course, to say that either the third party or the parties to the contract are restricted to the terms of the contract (to which the third party is a stranger) or precluded from relying on other circumstances to establish or negative the existence of a trust in the third party's favour in any dispute between the third party and one or more of the parties to the contract: see, for example, *Royal Exchange Assurance v Hope* [1928] Ch 179 at 185, 195.

The question whether a particular contract itself creates a trust of the benefit of one or more of the promises which it contains is primarily a question of the construction of the terms of the contract. Those terms must, however, be construed in context and a trust of a contractual promise will obviously be more readily discerned in the terms of some classes of contracts than it will in others. It is difficult to envisage a class of contract in which the creation of such a trust would be more readily discernible than the type of contract which is involved in the present case, namely, a policy of liability [149] insurance indemnifying both a party to the contract and others who are designated either by specific identification or by their membership of an identified group. In the case of such a policy, the terms of the contract itself will, in the context of the nature of insurance, ordinarily manifest an intention to the effect that each non-party assured is to be fully entitled to the benefit of the promisor's promise to indemnify him, that is to say, that the promisee should hold the chose in action constituted by the right to enforce that promise upon trust for the relevant non-party assured: compare *Jacobs' Law of Trusts in Australia* (5th ed, 1986), pp 24–5. The intention so manifested will commonly be a joint intention of promisor and promisee. It would suffice, however, that it be the intention of the promisee alone.

The relevant terms of the policy of insurance in the present case are set out or summarised in the judgment of McHugh JA in the Court of Appeal and in the joint judgment of Mason CJ and Wilson J in this court. It is unnecessary that I repeat them. It suffices to say that, in the context of the nature of liability insurance, those contractual terms manifest an unmistakeable intention that each assured should be entitled to the benefit of the insurer's promise to indemnify it against the specified loss and should be itself entitled to insist upon enforcement of that promise. That intention is properly to be construed in legal terms as an intention that the chose in action constituted by the benefit of Trident's promise to indemnify each contractor and subcontractor on the identified sites in respect of specified loss should be held by the promisee ("Blue Circle") upon trust for the relevant contractor or subcontractor. Prima facie, the contract operated to give effect to that intention which it manifested. That being so, the prima facie effect of the policy itself in the events which occurred (that is McNiece becoming a designated contractor or subcontractor) was to create a trust for McNiece of the benefit of Trident's promise to indemnify it against relevant loss. There is nothing in the material before the court which could have the effect of negativing or modifying the creation or effect of that trust. Indeed, in the context of the circumstances disclosed by that material, it is difficult to conceive of any real possibility of the existence of circumstances which could have had that effect. There are, however, two related difficulties involved in giving effect on this appeal to a conclusion that Blue Circle holds the benefit of Trident's promise to indemnify McNiece upon trust for McNiece. The first is that Blue Circle is not a party to the appeal. The second lies in the course which the proceedings followed in the courts below …

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[His Honour noted that McNiece had not raised the question of whether a trust existed in its favour at trial and the Court of Appeal had refused leave to amend the statement of claim to raise a claim based on trust. After considering the comments made by the members of the Court of Appeal concerning the implication of a trust from a liability insurance policy, his Honour said that he could not accept the conclusion reached by McHugh JA that a trust will *invariably* be imputed where a third party seeks to rely on a liability insurance policy, nor was he prepared to agree with the conclusion of Hope and Priestley JJA that as the policy of insurance was entered into upon the expressed intention that the parties other than Blue Circle should have enforceable rights under it, McNiece could succeed without joining Blue Circle as a party or providing proof of a trust. His Honour continued:]

[152] My refusal to take the final step of recognising, in a case such as the present and in the absence of some applicable statutory provision, a direct right of action in the third party against the insurer to enforce the contract is not based on an insistence upon matters of form or procedure. It flows from an inability to see such a direct right of action in contract otherwise than as inconsistent with the established legal position. For present purposes, a refusal to take that final step is significant in at least two distinct ways. First, the defeasibility and extent of the third party assured's rights under a trust of the insurer's promise are as defined by the law of trusts and not as laid down by some new judicial prescription. Second, the existence of an intention to create such a trust (manifested by a contract, not directly binding between the parties to it on the one hand and a third party on the other) could be negatived or modified by other circumstances. That being so, it would be unfair to hold in the present case that McNiece was entitled to succeed in an action against Trident on the basis of a trust without extending to Trident any opportunity at all of establishing the existence of further circumstances which could negative or modify the creation or effect of any such trust.

Nor, in my view, does there exist any acceptable justification for the alteration of that established legal position by the creation, by judicial decision as distinct from legislative reform, of a direct right of action in a third party assured under a policy of liability insurance to enforce a contract to which he is not a party. As has been seen, it has long been the settled law of this country that it is of the very nature of a contract that it does not, of itself, confer any direct right of enforcement upon a person who is not a party to it. In the light of the provisions of s 48 of the *Insurance Contracts Act 1984* (Cth), the only real point to be served by the judicial creation of such a direct right of enforcement would seem to be its retrospective application to any hard cases that might have arisen before the commencement of that Act. Even that doubtful point is, however, of doubly doubtful validity since it is far from apparent that there are, in fact, any such outstanding cases in which an insurer, who has invoked absence of privity to decline indemnity to a third party assured, is beyond the reach of doctrines of trust and estoppel or the principles of unjust enrichment. Moreover, the consequences of the creation of such an exception to the rule of privity are far from clear even in relation to the present case unless one treats the right of the third party to enforce the contract as being unconditional and indefeasible. If, for example, such a direct right of action of the third party assured could be terminated by the promisee or insurer or both up until the time when the third party had acted on the basis of the [153] promise or when the third party has given notice to the insurer that he has accepted the benefit of the promise, there has been no investigation in the present case of the question whether McNiece ever acted to its detriment on the basis of the policy or gave such notice or, for that matter, was even aware of the existence of the policy at any relevant time.

[Having concluded that the policy itself prima facie created a trust in favour of McNiece by which it was entitled to the benefit of Trident's promise to indemnify it, his Honour decided that the appropriate course was to allow McNiece leave to join Blue Circle as a respondent and to file a notice of contention alleging the existence of a trust. Trident should be allowed, if it could, to place before the court material showing that there were circumstances which had the effect of precluding or modifying the trust. In the absence of such evidence from Trident his Honour was of the view that the appropriate course was for the appeal to be dismissed.]

[11.75] DAWSON J: (dissenting) [158] To say the least, one may question the role of the court below, as an intermediate court of appeal bound by the decisions of this Court, in purporting to determine

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this case by the abandonment of established doctrine … Like it or not, there can be no doubt, nor did the Court of Appeal entertain any, that this Court has accepted the rule that only those who are parties to a contract can sue upon it. If *Wilson v Darling Island Stevedoring* (1956) 95 CLR 43 did not establish that to be so, then *Coulls* clearly did. Indeed, in the latter case Windeyer J described the rule as incontrovertible (1967) 119 CLR at 494. Those decisions, read in the light of *Vandepitte*, leave no room for argument whether or not the doctrine of privity applies to insurance policies expressed to be for the benefit of third persons ….

[160] This Court, whilst adhering to the doctrine of precedent, has always held itself able to depart from its own decisions when that is required for the proper exposition and development of the law. It is, therefore, not as confined as the court below which is bound by decisions of this Court. The argument before us accordingly took the [161] higher ground that we ought to abandon, at least in the case of contracts of insurance, the rule that only a party to a contract can sue upon it, because it has produced results which are unsatisfactory. But the invitation was not so much to engage in judicial creativity as to engage in the destruction of accepted principle, which is a very different thing ….

[162] Rejection of the doctrine of privity of contract by judicial decision could not be restricted upon any conceptual basis to contracts of insurance. There may be practical reasons for wishing to retain the doctrine in its application to some kinds of contract, but such a choice could not be made by a court by reference to any coherent body of principle. However, the rejection of the doctrine in anything other than a restricted manner requires the elaboration of a number of matters without which the law would be left unacceptably confused and uncertain. A glance at the legislation in those jurisdictions in which the doctrine has been abolished shows that it has been found necessary to provide for such matters as the manner in which the third person is to be specified in the contract, whether the benefit to the third person must be direct, whether any defence which is available against the promisee should be available against the third person and whether the promisee not being a party to any action should nevertheless be bound by the result, whether the third person should be bound by any obligations imposed upon him by the contract, whether acceptance of the contract by the third person is required and whether the contract may be discharged or varied without the consent of the third person. These are things which are beyond the purview of a court in its task of expounding the law in the context of resolving individual disputes ….

I would allow the appeal.

[11.80] TOOHEY J: [171] Certainly a court must look long and hard at the implications of declaring the law to be otherwise than hitherto accepted. In particular the court must consider the impact of any change on existing rights and obligations. But in the present case, to allow the respondent to sue the appellant is to give effect to the presumed intention of the appellant at the time it issued the insurance policy. If that not be the case, then as Prof Flannigan noted (p 579):

> If we are concerned with retaining the status quo in order to protect the planning interest, it is well to point out that those who plan on the basis of the rule are those who contract with the knowledge that they will not have to perform the contract, a very odd position for the common law to support.

When a final court of appeal is minded to change the common law, the notion of prospective overruling aims to deal with problems created by "departures from precedents on which expectations have been built": Stone, *Precedent and Law* (1985), p 186. It seeks to mitigate the hardship and possible injustice caused by overturning a law on which the parties have reasonably relied when ordering their affairs. The possible application of prospectivity does not arise in the present case for to declare that the law permits the respondent to bring action against the appellant does not frustrate the intentions of those involved; rather it gives effect to those intentions …

[172] [I]t is enough, for present purposes, that the insurance policy was expressed to be and was intended to be for the benefit of others, of which the respondent was one and that the others might be expected to order their affairs accordingly.

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The proposition which I consider this court should now indorse may be formulated along these lines. When an insurer issues a liability insurance policy, identifying the assured in terms that evidence an intention on the part of both insurer and assured that the policy will indemnify as well those with whom the assured contracts for the purpose of the venture covered by the policy, and it is reasonable to expect that such a contractor may order its affairs by reference to the existence of the policy, the contractor may sue the insurer on the policy, notwithstanding that consideration may not have moved from the contractor to the insurer and notwithstanding that the contractor is not a party to the contract between the insurer and assured.

No doubt, a decision upholding the Court of Appeal will itself give rise to a number of questions. Are there other situations in which a third party may sue on a contract when consideration has not moved from the third party to the promisor? What defences are available to the promisor in such cases? These are questions which do not now require an answer. Other situations must await another day; the terms on which special leave to appeal was granted preclude a decision in wider terms than have been expressed in these reasons. The defences available to an insurer against whom action may lie at the suit of a third party do not have to be explored for none was advanced on behalf of the appellant before this court.

The appeal should be dismissed.

[11.85] GAUDRON J: [176] In my view it should now be recognised that a promisor who has accepted agreed consideration for a promise to benefit a third party is unjustly enriched at the expense of the third party to the extent that the promise is unfulfilled and the non-fulfilment does not attract proportional legal consequences. Although exceptions to and qualifications of the rules of privity and consideration and the doctrines of trust and estoppel operate in certain circumstances to preclude any unjust enrichment, the exceptions, qualifications and doctrines should not be seen as reasons to impede the development of legal principle which will obviate all possibility of unjust enrichment. Rather, their existence should be seen as demonstrating the necessity for the recognition of such an obligation.

The possibility of unjust enrichment is obviated by recognition that a promisor who has accepted agreed consideration for a promise to benefit a third party owes an obligation to the third party to fulfil that promise and that the third party has a corresponding right to bring action to secure the benefit of the promise. …

[177] On the basis that the appellant received the agreed consideration specified in the policy of insurance – a matter that has not been disputed – it came under an obligation to the respondent to fulfil its promise to indemnify it as provided in the policy. The respondent is entitled to maintain an action to enforce that obligation.

Appeal dismissed.

[11.90] Notes

1. In *Silver v Dome Resources NL* (2007) 62 ACSR 539, 567 Hamilton J noted that "despite the passage of nearly 20 years since the decision in *Trident*, I am not aware of any decision, particularly of an appellate court, the ratio decidendi of which would justify the widening of the exception" beyond contracts of insurance.
2. In *Gate Gourmet Australia Pty Ltd (in liq) v Gate Gourmet Holding Ag* [2004] NSWSC 149, a subsidiary company sought to enforce a letter of guarantee issued by its ultimate

holding company. Although Einstein J held that the subsidiary company was a party to the contract, he noted that if this conclusion was incorrect, the subsidiary company could nevertheless enforce the promise. The exception to the privity rule recognised by Mason CJ and Wilson J and Toohey J in *Trident* could be extended because of the similarities between contracts of insurance and contracts of indemnification and because the parties had a common intention that the subsidiary company would obtain the benefit of the promises contained in the letter and had ordered its affairs accordingly.

3. Gaudron J's reasoning in *Trident* has been "extensively" and "properly" criticised, and has been held not to represent the law in Australia: *Benson v Rational Entertainment Enterprises Ltd* [2018] NSWCA 111, [117]–[124]. See also *Rail Corporation of New South Wales v Fluor Australia Pty Ltd* [2008] NSWSC 1348, [186].

4. The Supreme Court of Canada has also recognised the injustice of the privity rule and developed "principled exceptions" to it; see *London Drugs Ltd v Kuehne & Nagel International Ltd* [1992] 3 SCR 299 and *Fraser River Pile & Dredge Ltd v Can-Drive Services Ltd* [1999] 3 SCR 108.

5. For a defence of the privity rule see Kincaid, "Third Parties: Rationalising a Right to Sue" (1989) *Cambridge Law Journal* 243; "The Trident Insurance Case: Death of Contract" (1989) 2 *Journal of Contract Law* 160; "Privity and the Essence of Contract" (1989) 12 *University of New South Wales Law Journal* 59; "The UK Law Commission's Privity Proposals and Contract Theory" (1994) 8 *Journal of Contract Law* 51; "Privity and Private Justice in Contract" (1997) 12 *Journal of Contract Law* 47; "Privity Reform in England" (2000) 116 *Law Quarterly Review* 43.

REFORM

[11.95] The privity doctrine has been substantially modified in a number of jurisdictions. Legislation in Queensland (*Property Law Act 1974*, s 55), Western Australia (*Property Law Act 1969*, s 11) and the Northern Territory (*Law of Property Act*, s 56) allows third parties to enforce contracts made for their benefit in certain circumstances, as does legislation in England (*Contracts (Rights of Third Parties) Act 1999*) and New Zealand (*Contract and Commercial Law Act* 2017 (NZ), ss 10–20). The arguments in favour of reform were canvassed by the English Law Commission in its 1996 report: *Privity of Contract: Contracts for the Benefit of Third Parties*, Law Com No 242, and were summarised by Burrows, "Reforming Privity of Contract: Law Commission Report No 242" (1996) *Lloyd's Maritime and Commercial Law Quarterly* 467. See further Phang, "On Justification and Method in Law Reform – The Contracts (Rights of Third Parties) Act 1999" (2002) 18 *Journal of Contract Law* 32 and the literature cited therein; Stevens, "The Contracts (Rights of Third Parties) Act 1999" (2004) 120 *Law Quarterly Review* 292 and Beale, "A Review of the Contracts (Rights of Third Parties) Act 1999" in Burrows and Peel (eds), *Contract Formation and Parties* (OUP, Oxford, 2010), p 225.

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PART V

CHAPTER ***12***

Identifying the express terms

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TERMS AND THE COMMUNICATIONS OF THE PARTIES

[12.05] The terms of a contract determine what the parties have agreed to do by way of performance of their contract. This chapter concerns the way in which courts identify the terms of a contract. Chapter 13 looks at the ways in which courts interpret, or *construe*, those terms. In some cases, a contract may also be supplemented by implied terms, namely terms that are in some way implicit in the contract or recognised as a matter of law. Implied terms are discussed in Chapter 14.

The terms of a contract may be contained in a written and signed contractual document. Contract terms may also be found in unsigned documents, signs, notices, web pages, hypertext links, emails, or in the statements made during negotiations.

The process of identifying the terms seeks to distinguish contractual terms from mere statements of opinion or negotiations. In identifying the terms of a contract, courts seek to

give effect to the intentions of the parties. However, as we have already seen, the modern law of contract generally favours an objective approach in assessing the parties' intentions. The objective approach means that courts do not inquire into what the parties actually intended. Rather, courts consider "the intention which reasonable persons would have had if placed in the situation of the parties": *Reardon Smith Line v Hansen-Tangen* [1976] 1 WLR 989, 996 per Lord Wilberforce. See also *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, extracted at [15.35].

WRITTEN TERMS AND THE EFFECT OF SIGNATURE

[12.10] The general rule – laid down in *L'Estrange v Graucob* [1934] 2 KB 394 – is that a party will be bound by the terms contained in a contractual document which she or he has signed, whether or not she or he has read the document.

L'Estrange v Graucob

[12.15] *L'Estrange v F Graucob Ltd* [1934] 2 KB 394 (Divisional Court) – Appeal from the County Court.

[FACTS: The *plaintiff* decided to purchase from the *defendant* a cigarette vending machine. She signed a form on brown paper which was headed "Sales Agreement" and which was filled in by the defendant's salesperson. The form was an order form which contained printed terms of sale. It was retained by the salesperson, and two days later, the defendant sent to the plaintiff an "order confirmation" signed on behalf of the defendant. When the machine was delivered, it did not work satisfactorily. The plaintiff brought an action for damages for breach of an implied warranty that the machine was reasonably fit for the purposes for which it was required. The defendant relied upon the following clause in the sales agreement: "The agreement contains all the terms and conditions under which I agree to purchase the machine specified above and any express or implied condition, statement, or warranty, statutory or otherwise not stated herein is hereby excluded."

The trial judge held that there had been a breach of the implied warranty and that when she had signed the form, the plaintiff had no knowledge of its contents except for the price, instalments and the arrangements for installing the machine. He held that the type was unreasonably small and that the defendant did not do what was reasonably sufficient to give the plaintiff notice of the conditions. He gave judgment for the plaintiff. The defendant appealed.]

SCRUTTON LJ [referred to the facts and the course of proceedings and continued]: [402] The main question raised in the present case is whether that clause formed part of the contract. If it did, it clearly excluded any condition or warranty …

The present case is not a ticket case, and it is distinguishable from the ticket cases. In *Parker v South Eastern Ry Co* (1877) 2 CPD 416, Mellish LJ laid down in a few sentences the law which is [403] applicable to this case. He there said (at 421): "In an ordinary case, where an action is brought on a written agreement which is signed by the defendant, the agreement is proved by proving his signature, and, in the absence of fraud, it is wholly immaterial that he has not read the agreement and does not know its contents." Having said that, he goes on to deal with the ticket cases, where there is no signature to the contractual document, the document being simply handed by the one party to the other:

> The parties may, however, reduce their agreement into writing, so that the writing constitutes the sole evidence of the agreement, without signing it; but in that case there must be evidence independently of the agreement itself to prove that the defendant has assented to it. In that case, also, if it is proved that the defendant has assented to the writing constituting the agreement between the parties, it is, in the absence of fraud, immaterial that the defendant had not read the agreement and did not know its content.

L'Estrange v Graucob cont.

In cases in which the contract is contained in a railway ticket or other unsigned document, it is necessary to prove that an alleged party was aware, or ought to have been aware, of its terms and conditions. These cases have no application when the document has been signed. When a document containing contractual terms is signed, then, in the absence of fraud, or, I will add, misrepresentation, the party signing it is bound, and it is wholly immaterial whether he has read the document or not.

The plaintiff contended at the trial that she was induced by misrepresentation to sign the contract without knowing its terms, and that on that ground they are not binding upon her … I have read the evidence with care, and it contains no material upon which fraud [404] could be found. The plaintiff no doubt alleged that the defendants' agent represented to her that the document which was given her to be signed was an order form, but according to the defendants' evidence no such statement was made to her by the agent. Moreover, whether the plaintiff was or was not told that the document was an order form, it was in fact an order form, and an order form is a contractual document. It may be either an acceptance or a proposal which may be accepted, but it always contains some contractual terms. There is no evidence that the plaintiff was induced to sign the contract by misrepresentation. In this case the plaintiff has signed a document headed "Sales Agreement", which she admits had to do with an intended purchase, and which contained a clause excluding all conditions and warranties. That being so, the plaintiff, having put her signature to the document and not having been induced to do so by any fraud or misrepresentation, cannot be heard to say that she is not bound by the terms of the document because she has not read them …

[12.20] MAUGHAM LJ: [405] In the case of a formal contract between seller and buyer, such as a deed, there is a presumption which puts it beyond doubt that the parties intended that the document should contain the terms of their contract. The brown paper document is not a formal instrument of that character, yet, in my opinion having been signed it may well constitute a contract in writing. A reference to any of the textbooks dealing with the law of contract will provide many cases of the verbal acceptance of a written offer, in which the courts have held that the written offer and the acceptance, even though only verbal, together constituted a contract in writing, which could not be altered by extraneous evidence. The rule may not operate equitably in all cases, but it is unquestionably binding in law … In my opinion the contract was concluded not when the brown order form was signed by the plaintiff but when the order confirmation was signed by the defendants. If the document signed by the plaintiff was a part of a contract in writing, it is impossible [406] to pick out certain clauses from it and ignore them as not binding on the plaintiff … The written document admittedly related to the purchase of the machine by the plaintiff. Even if she was told that [407] it was an order form, she could not be heard to say that it did not affect her because she did not know its contents …

[His Lordship considered the possibility of misrepresentation and held that it had not been made out.]

Appeal allowed.

Toll (FGCT) v Alphapharm

[12.25] *Toll (FGCT) Pty Ltd v Alphapharm Pty Ltd* [2004] HCA 52; (2004) 219 CLR 165 – On Appeal from the Supreme Court of New South Wales.

[FACTS: *EB* was the Australian distributor of an influenza vaccine imported from the United Kingdom. The respondent (*Alphapharm*) was a sub-distributor. An Australian subsidiary of EB, Richard Thomson, agreed with the respondent that it would look after the collection, storage and regulatory approval of the vaccine. The vaccine required constant refrigeration at particular temperatures. Richard Thomson decided to engage a carrier, the appellant (*Finemores*) to collect the vaccine on arrival

Toll (FGCT) v Alphapharm cont.

at Sydney, transport it to the Finemores' warehouse and to store it. Alphapharm accepted Richard Thomson's suggestion that the Finemores' services be used both to deliver quantities of the vaccine to Alphapharm's customers and to collect and initially store them. Alphapharm had no direct dealings with Finemores. EB was liable for the cost of delivery into store. Alphapharm was liable for the cost of delivery from the warehouse to its customers. Finemores provided a quotation to Richard Thomson under cover of a letter. The letter stated that cartage was subject to the conditions on the reverse side of an attached consignment note. No consignment note was attached. The letter requested Richard Thomson to complete a credit application and to sign a rate schedule accepting certain rates and conditions. The credit application form, immediately above the place for the customer's signature, provided: "Please read 'Conditions of Contract' (overleaf) prior to signing." The representative of Richard Thomson signed without reading the conditions of contract. The conditions provided by cl 5 that the customer entered into the contract on its own behalf and also as agent for the customer's associates, who were defined by cl 3(b) to include persons having an interest in the goods. Clause 6 provided that in no circumstances would the carrier be responsible to the customer for loss and damage in relation to the goods.

The first consignment of the vaccine was rejected by a regulatory authority as the temperature had dropped below the minimum required during transit from the appellant's warehouse. A second consignment was rejected by an authority as the temperature had dropped too low while the consignment was in storage.

Alphapharm sued Finemores for damages for breach of duty as a bailee and in negligence. Finemores relied on the cl 6 exemption from liability. Alphapharm conceded that there was a legally binding agreement between Richard Thomson and Finemores, but denied it was bound by cl 6 or the other conditions, contending first, that the conditions on the reverse side of the application for credit were not part of the contract; and second, that Richard Thomson had not contracted as agent for Alphapharm. Both of Alphapharm's arguments succeeded at trial and on appeal. The trial judge and the Court of Appeal held that for the conditions of contract to be part of the agreement, it was necessary for Finemores to establish that it had done what was reasonably sufficient to give Richard Thomson notice of them and that this had not been done.]

THE COURT (GLEESON CJ, GUMMOW, HAYNE, CALLINAN and HEYDON JJ): [178] *The terms of contract issue*

A striking feature of the evidence at trial, and of the reasoning of the learned primary judge, is the attention that was given to largely irrelevant information about the subjective understanding of the individual participants in the dealings between the parties. Written statements of witnesses, no doubt prepared by lawyers, were received [178] as evidence in chief. Those statements contained a deal of inadmissible material that was received without objection. The uncritical reception of inadmissible evidence, often in written form and prepared in advance of the hearing is to be strongly discouraged. It tends to distract attention from the real issues, give rise to pointless cross-examination and cause problems on appeal where it may be difficult to know the extent to which the inadmissible material influenced the judgment at first instance.

In *Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337 at 352, Mason J observed:

> We do not take into account the actual intentions of the parties and for the very good reason that an investigation of those matters would not only be time consuming but it would also be unrewarding as it would tend to give too much weight to these factors at the expense of the actual language of the written contract.

It is not in dispute that Finemores stored and transported the goods pursuant to a contract made between Finemores and Richard Thomson. The role of Alphapharm in that contract is a matter of dispute, and is the subject of the agency issue. It may be put to one side for the moment. The issue presently under consideration concerns the identification of the terms on which Finemores and Richard Thomson contracted.

Toll (FGCT) v Alphapharm cont.

It is not in dispute that Mr Gardiner-Garden was authorised by Richard Thomson to sign the Application for Credit, and that when he signed that document he did so intending that it would affect the legal relations between Richard Thomson and Finemores. So much was acknowledged in the course of argument in this Court. Counsel for Richard Thomson said that there was no suggestion that the document that was signed was not intended to create legal relations. In their consideration in *Ermogenous v Greek Orthodox Community of SA Inc* (2002) 209 CLR 95 at 105-106 [25] of the requisite intention to create contractual relations, Gaudron, McHugh, Hayne and Callinan JJ said:

> Although the word "intention" is used in this context, it is used in the same sense as it is used in other contractual contexts. It describes what it is that would objectively be conveyed by what was said or done, having regard to the circumstances in which those statements and actions happened (*Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337 at 348-353, per Mason J; *Royal Botanic Gardens and Domain Trust v South Sydney City Council* (2002) 76 ALJR 436; 186 ALR 289). It is not a search for the uncommunicated subjective motives or intentions of the parties.

[179] The point at issue on this appeal concerns not the creation of legal relations but the nature of the legal relations created.

Any suggestion that the agreement between Richard Thomson and Finemores was vitiated by misrepresentation would be untenable. Mr Gardiner-Garden signed a document which invited him to read the terms and conditions on the reverse before signing. He was not rushed or tricked into signing the document. He chose to sign it without reading it. He could have read it had he wished. Finemores did not set out to conceal from him the terms and conditions on the document, or to encourage him not to read them. Finemores had no way of knowing that he did not read the document. No case of mistake or non est factum is advanced.

This Court, in *Pacific Carriers Ltd v BNP Paribas* (2004) 218 CLR 451, has recently reaffirmed the principle of objectivity by which the rights and liabilities of the parties to a contract are determined. It is not the subjective beliefs or understandings of the parties about their rights and liabilities that govern their contractual relations. What matters is what each party by words and conduct would have led a reasonable person in the position of the other party to believe. References to the common intention of the parties to a contract are to be understood as referring to what a reasonable person would understand by the language in which the parties have expressed their agreement. The meaning of the terms of a contractual document is to be determined by what a reasonable person would have understood them to mean. That, normally, requires consideration not only of the text, but also of the surrounding circumstances known to the parties, and the purpose and object of the transaction (*Pacific Carriers Ltd v BNP Paribas* (2004) 218 CLR 451 at 461-462 [22]).

In *Taylor v Johnson* (1983) 151 CLR 422 at 429, Mason A-CJ, Murphy and Deane JJ explained the significance of the difference between the subjective and objective theories of contractual assent by reference to the impeachment of a contract on the ground of unilateral mistake. They said:

> According to the subjective theory, there is no binding contract either at common law or in equity, equity following the common law in this respect. Of course in deciding whether the contract is void ab initio for the unilateral mistake, regard will be had to the doctrine of estoppel in order to determine whether effect should be given to the claim that there has been unilateral mistake. On the other hand, according to the objective theory, there is a contract which, in conformity with the common law, continues to be binding, unless and until it is avoided in accordance with equitable principles which take as their foundation a contract valid at common law but transform it so that it becomes voidable. The important distinction [180] between the two approaches is that, according to the subjective theory, the contract is void ab initio, whereas according to the objective theory, it is voidable only.

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Their Honours went on to say that "the clear trend in decided cases and academic writings has been to leave the objective theory in command of the field".

Consistent with this objective approach to the determination of the rights and liabilities of contracting parties is the significance which the law attaches to the signature (or execution) of a contractual document. In *Parker v South Eastern Railway Co* (1877) 2 CPD 416 at 421, Mellish LJ drew a significant distinction as follows:

> In an ordinary case, where an action is brought on a written agreement which is signed by the defendant, the agreement is proved by proving his signature, and, in the absence of fraud, it is wholly immaterial that he has not read the agreement and does not know its contents. The parties may, however, reduce their agreement into writing, so that the writing constitutes the sole evidence of the agreement, without signing it; but in that case there must be evidence independently of the agreement itself to prove that the defendant has assented to it.

More recently, in words that are apposite to the present case, in *Wilton v Farnworth* (1948) 76 CLR 646 at 649 Latham CJ said:

> In the absence of fraud or some other of the special circumstances of the character mentioned, a man cannot escape the consequences of signing a document by saying, and proving, that he did not understand it. Unless he was prepared to take the chance of being bound by the terms of the document, whatever they might be, it was for him to protect himself by abstaining from signing the document until he understood it and was satisfied with it. Any weakening of these principles would make chaos of every-day business transactions.

In *Oceanic Sun Line Special Shipping Co Inc v Fay* (1988) 165 CLR 197 at 228, Brennan J said:

> If a passenger signs and thereby binds himself to the terms of a contract of carriage containing a clause exempting the carrier from liability for loss arising out of the carriage, it is immaterial that the passenger did not trouble to discover the contents of the contract.

It should not be overlooked that to sign a document known and intended to affect legal relations is an act which itself ordinarily conveys a representation to a reasonable reader of the document. The [181] representation is that the person who signs either has read and approved the contents of the document or is willing to take the chance of being bound by those contents, as Latham CJ put it, whatever they might be. That representation is even stronger where the signature appears below a perfectly legible written request to read the document before signing it.

The statements in the above authorities accord with the well-known principle stated by Scrutton LJ in *L'Estrange v Graucob Ltd* [1934] 2 KB 394 at 403 that "[w]hen a document containing contractual terms is signed, then, in the absence of fraud, or, I will add, misrepresentation, the party signing it is bound, and it is wholly immaterial whether he has read the document or not". Scrutton LJ, in turn, was repeating the substance of what had been said by Mellish LJ in *Parker v South Eastern Railway Co* (1877) 2 CPD 416 at 421. The principle was applied in *Foreman v Great Western Railway Co* (1878) 38 LT 851. A consignor of cattle sent them for transportation by a railway company. They were put in the charge of a drover, who could not read. The drover signed a contract of carriage which contained an exclusion clause. The drover's employer was held to be bound by the clause. The Exchequer Division said that "the plaintiff who sends the [illiterate] servant to sign the document is in no better or worse position than if he had signed it himself without reading it" (*Foreman* (1878) 38 LT 851 at 853). In his lecture published as "Form and Substance in Legal Reasoning: The Case of Contract" (MacCormick and Birks (eds), *The Legal Mind: Essays for Tony Honore* (1986), Ch 2, 19, at p 34), Professor Atiyah posed, with reference to *L'Estrange v Graucob*, the question why signatures are, within established limits, regarded as conclusive. He answered:

> A signature is, and is widely recognized even by the general public as being a formal device, and its value would be greatly reduced if it could not be treated as a conclusive ground of contractual liability at least in all ordinary circumstances.

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Professor Atiyah added (MacCormick and Birks (eds), *The Legal Mind: Essays for Tony Honore* (1986), Ch 2, 19, at p 35):

> However, what is, I think, less clear is what is the underlying reason of substance in this kind of situation. The usual explanation for holding a signature to be conclusively binding is that it must be taken to show that the party signing has agreed to the contents of the document; but another possible explanation is that the other party can be treated as having relied upon the signature. It thus may be a mistake to ask, as H L A Hart once asked, whether the [182] signature is merely conclusive evidence of agreement, or whether it is itself a criterion of agreement (See Hart, "The Ascription of Responsibility and Rights", *Proceedings of the Aristotelian Society*, vol 49 (1949) 171).

These themes appeared in the judgment of this Court in *Petelin v Cullen* (1975) 132 CLR 355. There, the Court upheld a plea of non est factum. Under the common law rules, a plea of non est factum was a plea of the general issue which put in issue that the defendant had executed the deed alleged in its declaration (Bullen and Leake, *Precedents of Pleadings in Personal Actions in the Superior Courts of Common Law*, 3rd ed (1868), pp 467-468). In their joint judgment in *Petelin*, Barwick CJ, McTiernan, Gibbs, Stephen and Mason JJ said (*Petelin* (1975) 132 CLR 355 at 359):

> The principle which underlies the extension of the plea to cases in which a defendant has actually signed the instrument on which he is sued has not proved easy of precise formulation. The problem is that the principle must accommodate two policy considerations which pull in opposite directions: first, the injustice of holding a person to a bargain to which he has not brought a consenting mind; and, secondly, the necessity of holding a person who signs a document to that document, more particularly so as to protect innocent persons who rely on that signature when there is no reason to doubt its validity. The importance which the law assigns to the act of signing and to the protection of innocent persons who rely upon a signature is readily discerned in the statement that the plea is one "which must necessarily be kept within narrow limits" … and in the qualifications attaching to the defence which are designed to achieve this objective.

The importance which, for a very long time (see *Whelpdale's Case* (1604) 5 Co Rep 119a [77 ER 239]; Holdsworth, *A History of English Law*, 2nd ed (1937), vol 8, pp 50-51), the common law has assigned to the act of signing is not limited to contractual documents. *Wilton v Farnworth* was not a contract case. The passage from the judgment of Latham CJ quoted above is preceded by a general statement that, where a man signs a document knowing that it is a legal document relating to an interest in property, he is in general bound by the act of signature (*Wilton* (1948) 76 CLR 646 at 649). Legal instruments of various kinds take their efficacy from signature or execution. Such instruments are often signed by people who have not read and understood all their terms, but who are nevertheless committed to those terms by the act of signature or execution. It is that commitment which enables third parties to assume the legal efficacy of the instrument. To undermine that assumption would cause serious mischief.

In most common law jurisdictions, and throughout Australia, [183] legislation has been enacted in recent years to confer on courts a capacity to ameliorate in individual cases hardship caused by the strict application of legal principle to contractual relations. As a result, there is no reason to depart from principle, and every reason to adhere to it, in cases where such legislation does not apply, or is not invoked (*Photo Production Ltd v Securicor Transport Ltd* [1980] AC 827 at 843, per Lord Wilberforce; at 851, per Lord Diplock; *Darlington Futures Ltd v Delco Australia Pty Ltd* (1986) 161 CLR 500 at 507-508; *Esso Australia Resources Ltd v Federal Commissioner of Taxation* (1999) 201 CLR 49 at 62 [24]).

To speak of the operation of the law of contract with respect to the signature of the document containing cl 6 requires attention both to the significance attached by the law to the presence of

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the signature and also to the absence of any grounds, such as a plea of non est factum, which at common law would render the contract void and of any grounds, such as misrepresentation, which might attract equitable relief, or which might elicit curial dispensation under a statutory regime. This illustrates the cogency of the statement of H L A Hart (Hart, "The Ascription of Responsibility and Rights", *Proceedings of the Aristotelian Society*, vol 49 (1949) 171, at p 174) that usually it is not possible to define a legal concept such as "contract" merely by specifying certain necessary and sufficient conditions for its application because: "any set of conditions may be adequate in some cases but not in others and such concepts can only be explained with the aid of a list of exceptions or negative examples showing where the concept may not be applied or may only be applied in a weakened form."

An application of settled principle in the present case leads to the conclusion that the terms and conditions on the reverse of the Application for Credit formed part of the contract governing the storage and transportation of the goods.

The reasoning of the primary judge, accepted by the Court of Appeal, was based upon the proposition that, in order for those terms and conditions to be made part of the contract, it was necessary for Finemores to establish that it had done what was reasonably sufficient to give Richard Thomson notice of the terms and conditions (the major premise), and the further proposition that Finemores had not done what was reasonably sufficient to give Richard Thomson such notice (the minor premise).

It would be possible to dispose of the appeal by disagreeing with the minor premise. What more Finemores could have done to give Richard Thomson notice of the terms and conditions than requiring their representative to sign a document, and to place his signature immediately below a request that he read the conditions on the reverse side of the document before signing, is difficult to imagine.

Of wider importance, however, is the major premise. If correct, it involves a serious qualification to the general principle concerning the [184] effect of signing a contract without reading it. The proposition appears to be that a person who signs a contractual document without reading it is bound by its terms only if the other party has done what is reasonably sufficient to give notice of those terms. If the proposition is limited to some terms and not others, it is not easy to see what the discrimen might be.

It appears from the reasoning of the primary judge and the Court of Appeal that the proposition was given a narrower focus, and was limited to exclusion clauses, or, perhaps, exclusion clauses which are regarded by a court as unusual and onerous. The present happens to be a case about exclusion clauses, but there is no apparent reason why the principle, if it exists, should apply only to them. Nor is the criterion by which a court might declare a contractual provision to be unusual or onerous always easy to identify. The origin of the proposition, clearly enough, is in the principles that apply to cases, such as ticket cases, in which one party has endeavoured to incorporate in a contract terms and conditions appearing in a notice or an unsigned document. When an attempt is made to introduce the concept of sufficient notice into the field of signed contracts, there is a danger of subverting fundamental principle based on sound legal policy. There are circumstances in which it is material to ask whether a person who has signed a document was given reasonable notice of what was in it. Cases where misrepresentation is alleged, or where mistake is claimed, provide examples. No one suggests that the fact that a document has been signed is for all purposes conclusive as to its legal effect. At the same time, where a person has signed a document, which is intended to affect legal relations, and there is no question of misrepresentation, duress, mistake, or any other vitiating element, the fact that the person has signed the document without reading it does not put the other party in the position of having to show that due notice was given of its terms. Furthermore, it may be asked, where would this leave a third party into whose hands the document might come?

In *L'Estrange v Graucob* ([1934] 2 KB 394 at 402-403), Scrutton LJ said that the problem in that case was different from what he described as "the railway passenger and cloak-room ticket cases, such as

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Richardson, Spence & Co v Rowntree ([1894] AC 217)", where "there is no signature to the contractual document, the document being simply handed by the one party to the other". His Lordship said:

> In cases in which the contract is contained in a railway ticket or other unsigned document, it is necessary to prove that an alleged party was aware, or ought to have been aware, of its terms and conditions. These cases have no application when the document has been signed. [185]

In the same case Maugham LJ (*L'Estrange v Graucob* [1934] 2 KB 394 at 406-407), who agreed with Scrutton LJ, referred to three possible circumstances in which the party who signed the document might not have been bound by its terms. The first was if the document signed was not a contract but merely a memorandum of a previous contract which did not include the relevant term. The second was a case of non est factum. The third was a case of misrepresentation.

If there is a claim of misrepresentation, or non est factum, or if there is an issue as to whether a document was intended to affect legal relations or whether, on the other hand, it was tendered as a mere memorandum of a pre-existing contract, or a receipt, or if there is a claim for equitable or statutory relief, then even in the case of a signed document it may be material to know whether a person who has signed it was given sufficient notice of its contents. The general rule, which applies in the present case, is that where there is no suggested vitiating element, and no claim for equitable or statutory relief, a person who signs a document which is known by that person to contain contractual terms, and to affect legal relations, is bound by those terms, and it is immaterial that the person has not read the document. *L'Estrange v Graucob* explicitly rejected an attempt to import the principles relating to ticket cases into the area of signed contracts. It was not argued, either in this Court or in the Court of Appeal, that *L'Estrange v Graucob* should not be followed.

The reasoning of the primary judge on the matter was as follows:

> The question for decision then is whether the "Conditions of Contract" on the back of the Application for Credit formed part of the contract.
>
> This is not a case where the parties have signed a single formal document which purports to contain all the terms and conditions of the contract between them. The relevant writing forms but part of one document out of a number which partly evidence the contract.
>
> Neither are the facts on all fours with those in *Liaweena (NSW) Pty Ltd v McWilliams Wines Pty Ltd* ([1991] ASC ¶56-038), where the party receiving a notice knew that it contained conditions which the other party intended to form part of future contracts, but because of an innocent misrepresentation did not read them. In this case I accept that Mr Garden did not realise that there were conditions on the back of the Credit application, especially conditions of a kind which so radically affected the contract. However, I do not think that he was induced not to read them because of any misrepresentation, however innocent. He did not give evidence that he was so misled, because he could not remember the circumstances of his signing the document. [186]
>
> However, I also respectfully accept the statement in that case that the underlying question is whether the defendant "did what was reasonably sufficient to give the plaintiff notice of the condition". I also note the statement in *Remath Investments No 6 Pty Ltd v Chanel (Australia) Pty Ltd* (unreported; Supreme Court of NSW (Court of Appeal); 24 December 1992 at 4) that this obligation applies not merely to the existence but also to the content of the conditions.
>
> Mr Garden had already read a document containing rates and conditions. He was then presented with another document which on its face related to matters relevant to his company's creditworthiness. All that was done to give him notice was the single sentence above the space provided for his signature which read "Please read 'conditions of contract' (Overleaf) prior to signing." Had he noticed that sentence, he would have been quite justified in assuming that overleaf there were conditions relating to the terms upon which

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> credit would be extended to his company. Conditions about cartage and storage had been set out in the previous document. There was nothing in the Application for Credit document itself, in the surrounding circumstances or in anything that Finemores had said or done that should have alerted him to the fact that the document contained conditions which so radically affected the contract.
>
> I am satisfied that Finemores did not do what was reasonably sufficient to give Richard Thomson notice of the existence or of the content of the conditions of contract on the back of the Application for Credit form. Those conditions did not therefore form part of the contract between Finemores and Richard Thomson. (Footnotes omitted.)

Passing over the statement that *all* that was done to give notice was to provide for signature immediately below a request to read the conditions overleaf before signing (a proposition that goes to the minor premise), the reasoning proceeds upon a transposition to this area of discourse of the reasoning in the ticket cases: the very thing that *L'Estrange v Graucob* held should not be done.

The case of *Remath Investments No 6 Pty Ltd Remath Investments No 6 Pty Ltd* (unreported; Supreme Court of NSW (Court of Appeal); 24 December 1992) is clearly distinguishable. Goods were stolen from a bond store. Invoices referred to storage conditions which were said to be available on request. The Court of Appeal held that the storage conditions were not part of the contracts covering the stolen goods. "The contracts did not expressly incorporate those conditions and the invoices were sent too late to have any contractual effect." (*Remath Investments No 6 Pty Ltd v Chanel (Australia) Pty Ltd* (unreported; Supreme Court of NSW (Court of Appeal); 24 December 1992, at 4) Both parties accepted that the test was whether "the appellant did what was reasonably sufficient to [187] give … notice of the condition[s]" (*Remath Investments No 6 Pty Ltd v Chanel (Australia) Pty Ltd* (unreported; Supreme Court of NSW (Court of Appeal); 24 December 1992, at 9). That is not the basis on which the present case is to be decided.

All three members of the Court of Appeal accepted the primary judge's erroneous view that the critical question was whether Finemores gave Richard Thomson reasonably sufficient notice of the conditions on the reverse side of the Application for Credit. Bryson J, with whom Sheller JA agreed, was troubled about the negative answer that was given to the question, and said that he may have come to a different conclusion, but held that the conclusion of the trial judge was open to him and should not be disturbed. This led to a submission in this Court that the Court of Appeal had abdicated its responsibility to review the trial judge's reasoning, but it is unnecessary to pursue that point.

Young CJ in Eq referred to the English case of *Grogan v Robin Meredith Plant Hire* [1996] TLR 93, in which the issue was whether the signature of a plant driver's time sheet by the agent of a company which had hired the driver and plant varied a pre-existing contract of hire so as to incorporate standard conditions of the Contractors Plant Association which were referred to on the time sheet. The English Court of Appeal answered the question in the negative. The question was identified as being whether in the circumstances a reasonable person would have understood the act of signing the time sheet as intended to have the effect of varying a contract that had already been made. The time sheet, the Court of Appeal said, was essentially an administrative and accounting document. That decision has no bearing on the present case, especially in light of the acknowledgment that the Application for Credit was intended to affect legal relations, and the fact that there was no pre-existing contract.

There may be cases where the circumstances in which a document is presented for signature, or the presence in it of unusual terms, could involve a misrepresentation. No such problem exists in the present case. There could also be circumstances in which one party would not reasonably understand another party's signature to a document as a manifestation of intent to enter into legal relations, or of assent to its terms. Again, that is not this case. It was reasonable of Finemores to treat Mr Gardiner-Garden's signature as a manifestation of assent to the conditions he had been invited to read before signing.

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There was, in the reasoning of the Court of Appeal, some emphasis on the fact that the document signed by Mr Gardiner-Garden was an Application for Credit, and a suggestion that there is something surprising about such a document containing anything other than terms of payment. Bryson J said that the Application for Credit "was not altogether clearly an indication that the conditions were to be part of [188] the contractual arrangement" and that a condition such as cl 6 or cl 8 was not what might be expected in an Application for Credit. Part of the answer to this has already been mentioned. The Application for Credit was in substance an application by Richard Thomson to become an account customer, and it was to cover all future dealings with Finemores. The Application for Credit had been referred to in the first written communication from Finemores to Richard Thomson. The evidence was against any conclusion that the conditions were abnormal. There was no evidence to support a finding that applications for credit in the transport industry do not normally contain general terms of contract. Such evidence as there was on the matter was to the effect that the terms in question were not abnormal. Furthermore, it should be noted that the commercial context in which the terms and conditions operated included, as a key element, the matter of insurance. Clause 6 is to be understood in the light of cl 9. Alphapharm's later acceptance of the same standard terms was no doubt related to the fact that it had its own insurance. More fundamentally, the concern felt by the Court of Appeal was not addressed under the rubric of misrepresentation. Any suggestion of misrepresentation had been dismissed by the primary judge, and had no basis in fact. Mr Gardiner-Garden was not subjected to any pressure, and there was no element of concealment. There was no evidence that he was induced to sign the document by anything other than the request that he sign it. If the case had been one of misrepresentation, then it would have fallen within the qualification expressed in *L'Estrange v Graucob*; but it was not.

The Victorian Court of Appeal, in *Le Mans Grand Prix Circuits Pty Ltd v Iliadis* [1998] 4 VR 661 (Winneke P and Tadgell JA, Batt JA dissenting), considered a case in which a plaintiff, attending a radio station promotional function at a go-kart track, was required to sign a document at the point of entry. He was bustled into signing the document without being given an opportunity to read it. The document was headed, in bold capitals, "TO HELP WITH OUR ADVERTISING". The plaintiff said he thought it was a form for marketing or promotional purposes. It contained an exclusion of liability clause. The plaintiff was injured. The Court of Appeal held that the exclusion clause did not apply. There was no finding that any contract of hire was made between the parties. There was no fee charged for entry, and no contract of entry. No one told the plaintiff he would be required to sign any contractual document.

The defendant conceded that "contractual documents containing an onerous exemptive provision must be brought to the notice of the party against whom they are to be enforced" (*Le Mans* [1998] 4 VR 661 at 667). Tadgell JA (with whom [189] Winneke P agreed) referred (*Le Mans* [1998] 4 VR 661 at 667) to the "trenchant" criticism of *L'Estrange v Graucob* in an article (Spencer, "Signature, Consent and the Rule in *L'Estrange v Graucob*", [1973] *Cambridge Law Journal* 104) to which, however, Professor Atiyah had responded as described earlier in these reasons. The defendant, having made the concession above, took its stand on a factual issue, whether in the instant case the exemptive provision had been brought to the notice of the plaintiff (*Le Mans* [1998] 4 VR 661 at 667). In these circumstances, the decision stands apart from the present appeal. That being so, it is unnecessary to enter upon a question whether the outcome in *Le Mans* may be supported on the basis of a misrepresentation as to the nature of the document signed.

In this case the printed conditions on the Application for Credit formed part of the contract of storage and transportation.

There is a further point that should be mentioned. In dealing with an argument about when the contract was made, Bryson J referred to one of a number of alternatives advanced by counsel for Finemores, which was that agreement was reached on 24 February 1999, when a letter accepting the Application for Credit was posted. On that basis, his Honour said, the first consignment to

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Brisbane pre-dated the contract, and the loss occurred before the conditions of contract were agreed. The alternative argument with which his Honour was dealing was misconceived. Bryson J was right to point out that, if correct, it had the consequence he mentioned, but it was not correct. Finemores acted upon the Application for Credit, and accepted it by conduct, when, on 18 February 1999, it collected the first shipment of vaccine, took it into storage, and sent an invoice referring to Richard Thomson's customer number, being the same number as was confirmed in the later letter welcoming Richard Thomson as an account customer. This occurred before the first loss.

The agency issue

[12.30] … [193] The use of the concept of agency as a method of overcoming the requirements of privity in a commercial context such as the present was suggested by Lord Reid in *Midland Silicones Ltd v Scruttons Ltd* [1962] AC 446 at 474, and taken up in *New Zealand Shipping Co Ltd v A M Satterthwaite & Co Ltd* [1975] AC 154, and *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Australia) Pty Ltd* (1980) 144 CLR 300. The technique was recently described by Lord Bingham of Cornhill as "a deft and commercially-inspired response to technical English rules of contract, particularly those governing privity and consideration" (*Homburg Houtimport BV v Agrosin Private Ltd* [2004] 1 AC 715 at 744). In the case of a stevedore seeking the benefit of a Himalaya clause, courts have been ready to conclude that the carrier was acting with the stevedore's authority (eg, *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Australia) Pty Ltd* (1978) 139 CLR 231 at 241, per Barwick CJ). In the present case, the particular clause in question operates against, rather than in favour of, Alphapharm. On the other hand, a conclusion that Richard Thomson was authorised to act on behalf of Alphapharm may be more obvious than a conclusion that a carrier at time of shipment was authorised to act on behalf of an unknown stevedore in a foreign country.

The evidence made it plain that Alphapharm required services of the kind provided by Finemores, that it decided to use the services of Finemores, that it designated Finemores' warehouse as its store for the purpose of the sub-distribution agreement, that it appropriated the goods while they were in Finemores' store, and that it required Finemores to transport the goods to Alphapharm's customers. It is also clear that Alphapharm left it to Richard Thomson to arrange the necessary contract pursuant to which Finemores was to provide those services for the benefit of Alphapharm. The terms on which Richard Thomson contracted were Finemores' standard terms and conditions.

… The evidence compels the conclusion that Alphapharm authorised Richard Thomson to contract with Finemores and to agree upon rates of freight, terms of payment, and such other standard terms and conditions of the contract of storage and transportation as were required by Finemores. So long as the terms and conditions to which Richard Thomson agreed were Finemores' [194] standard terms and conditions then Richard Thomson was acting within its authority.

In the result, Alphapharm was bound by cl 6 of the Conditions of Contract. No issue arises of the indemnity claim made under cl 8 of the Conditions of Contract.

Appeal allowed.

Circumstances in which the effect of signature may be avoided

[12.35] The rule in *L'Estrange v Graucob* – that a party is bound by the terms of a document which he or she has signed – will not apply where the signature was induced by misrepresentation or fraud, or in some cases of mistake. The rule will also not apply where the document cannot reasonably be considered a contractual document, for example, because it appears to have another function, such as being a receipt.

Curtis v Chemical Cleaning & Dyeing

[12.40] *Curtis v Chemical Cleaning & Dyeing Co* [1951] 1 KB 805 (Court of Appeal) – Appeal from Judge Blagden, sitting at Westminster County Court.

[FACTS: Mrs Curtis, the *customer/plaintiff*, took to the shop of the *defendants/cleaners*, Chemical Cleaning & Dyeing Co, for cleaning, a white satin wedding dress. The customer was handed by a shop assistant a paper headed "Receipt", which she was asked to sign. Before doing so, the customer asked the assistant why her signature was required and was told (according to the customer) that it was because the cleaners would not accept liability for certain specified risks, including the risk of damage by or to the beads and sequins with which the dress was trimmed. The customer then signed the "receipt", which in fact contained the following condition: "This or these articles is accepted on condition that the [cleaners are] not liable for any damage howsoever arising, or delay."

When the dress was returned to the customer, there was a stain on it which could not be explained, and the customer brought the present action claiming damages. The cleaners denied negligence and also relied on the exemption from liability contained in the signed receipt. The County Court judge held that the onus of showing that the damage was not due to their negligence was on the cleaners; that they had failed to discharge that burden and that because of innocent misrepresentation by the shop assistant, they could not rely on the condition contained in the receipt. He therefore awarded the plaintiff £32 10s damages. The cleaners appealed against the finding of misrepresentation.]

DENNING LJ: [808] This case is of importance because of the many cases nowadays when people sign printed forms without reading them, only to find afterwards that they contain stringent clauses exempting the other side from their common law liabilities. In every such case it must be remembered that, if a person wishes to exempt himself from a liability which the common law imposes on him, he can only do it by an express stipulation brought home to the party affected, and assented to by him as part of the contract: *Olley v Marlborough Court* [1949] 1 KB 532. If the party affected signs a written document, knowing it to be a contract which governs the relations between them, his signature is irrefragable evidence of his assent to the whole contract, including the exempting clauses, unless the signature is shown to be obtained by fraud or misrepresentation: *L'Estrange v F Graucob Ltd* [1934] 2 KB 394. But what is a sufficient misrepresentation for this purpose? That is the point which Mr Geoffrey Lawrence has raised in this appeal.

In my opinion any behaviour, by words or conduct, is sufficient to be a misrepresentation if it is such as to mislead the other party about the existence or extent of the exemption. If it conveys a false impression, that is enough. If the false impression [809] is created knowingly, it is a fraudulent misrepresentation; if it is created unwittingly, it is an innocent misrepresentation; but either is sufficient to disentitle the creator of it to the benefit of the exemption. In *R v Kylsant (Lord)* [1932] 1 KB 442, it was held that a representation might be literally true but practically false, not because of what is said, but because of what is left unsaid; in short, because of what it implied. This is as true of an innocent misrepresentation as it is of a fraudulent misrepresentation. When one party puts forward a printed form for signature, failure by him to draw attention to the existence or extent of the exemption clause may in some circumstances convey the impression that there is no exemption at all, or at any rate not so wide an exemption as that which is in fact contained in the document. The present case is a good illustration. The customer said in evidence: "When I was asked to sign the document I asked why? The assistant said I was to accept any responsibility for damage to beads and sequins. I did not read it all before I signed it."

In those circumstances, by failing to draw attention to the width of the exemption clause, the assistant created the false impression that the exemption only related to the beads and sequins, and that it did not extend to the material of which the dress was made. It was done perfectly innocently, but nevertheless a false impression was created. It was probably not sufficiently precise and unambiguous to create an estoppel (*Low v Bouverie* [1891] 3 Ch 82); but nevertheless it was a sufficient misrepresentation to disentitle the cleaners from relying on the exemption, except in regard to beads and sequins.

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In the present case the customer knew, from what the assistant said, that the document contained conditions. If nothing was said she might not have known it. In that case the document might reasonably be understood to be, like a boot repairer's receipt, only a voucher for the customer to produce when collecting the goods, and not understood to contain conditions exempting the cleaners from their common law liability for negligence. In that case it would not protect the cleaners: see *Chapelton v Barry Urban District Council* [1940] 1 KB 532. I say this because I do not wish it to be supposed that the cleaners would have been better off if the assistant had simply handed over the document to the customer without asking her to sign it; or if the customer were not so inquiring as the plaintiff, but were an unsuspecting person who signed whatever she was asked without question. In those circumstances the conduct of the cleaners might well be such that it conveyed the impression that the document contained no conditions, or, at any rate, no condition [810] exempting them from their common law liability, in which case they could not rely on it … I therefore agree that the appeal should be dismissed.

[SOMERVELL LJ delivered a judgment holding that because of the misrepresentation, the exception clause never became part of the contract. SINGLETON LJ agreed.]

Appeal dismissed.

INCORPORATION OF TERMS BY NOTICE

[12.45] It is not uncommon for one party to allege that the contract contains terms which have been displayed or delivered before or at the time of the transaction. Whether or not the other party will be bound depends upon whether:

1. the terms were available to the party to be bound by those terms before the contract was made; and
2. reasonable steps were taken to bring the terms to the notice of the party to be bound.

Timing

[12.50] For delivered or displayed terms to form part of a contract, they must be available to the party to be bound before the contract is made.

Oceanic Sun Line Special Shipping Company v Fay

[12.55] *Oceanic Sun Line Special Shipping Company Inc v Fay* (1988) 165 CLR 197 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: Dr Fay, the *plaintiff*, a resident of Queensland, made a booking in New South Wales for a cruise of the Greek islands on a vessel owned by a Greek company, Oceanic Sun Line Special Shipping Company Inc, the *defendant*. Upon payment of the fare, the plaintiff was handed an "exchange order" which stated that it would be exchanged for a ticket when he boarded the vessel. In Athens, the plaintiff obtained his ticket, upon which was printed a condition that the courts of Greece should have exclusive jurisdiction in any action against the owner. The plaintiff received serious injuries while taking part in trap shooting on board the ship. The plaintiff sued the defendant for negligence in the Supreme Court of New South Wales. The defendant applied for a stay of the action. The application

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was refused by the trial judge, and this decision was upheld by the Court of Appeal. The defendant appealed by special leave to the High Court.]

BRENNAN J: [225] The first step in determining whether the contract of carriage contains the exclusive foreign jurisdiction clause set out in cl 13 of the ticket is to determine whether the contract of carriage was [226] entered into when Mary Rossi Travel (as agent for the plaintiff) paid the plaintiff's fare to JMA Tours in Sydney (as agent for the defendant). If, as the defendant submits as one limb of its argument, no contract of carriage was made in Sydney, the contract of carriage must have been made in Greece at or after the time when the ticket was issued to Mrs Rossi as the plaintiff's agent. The defendant's submission that no contract was made in Sydney is based on the indorsement on the exchange order which reserved to Sun Line the "right to cancel any cruise". The reservation of that right, it is said, makes any promise of carriage illusory and thus denies the existence of a contract of carriage.

In *MacRobertson Miller Airline Services v Commissioner of State Taxation (WA)* (1975) 133 CLR 125, the terms printed on an airline ticket, which had been issued on payment of the fare, reserved to the carrier the right to abandon any flight, to cancel any booking and to refuse to carry the passenger. It was held that the ticket was not liable to stamp duty as an agreement or memorandum of agreement. Barwick CJ said: "The exemption of the ticket in this case fully occupies the whole area of possible obligation, leaving no room for the existence of a contract of carriage." (1975) 133 CLR, at 133.

Jacobs J ((1975) 133 CLR, at 148) also regarded the exemption clause as showing that the carrier "undertakes no executory obligation which creates rights in an obligee". Stephen J did not find it necessary to reach that conclusion ((1975) 133 CLR, at 140). The defendant submits that the exemption clause in the exchange order is comparable with the clauses in the ticket in *MacRobertson Miller*. As the exemption clause in the exchange order is significantly different from the exemption clauses in the ticket in *MacRobertson Miller*, it is not necessary to analyse the construction which Barwick CJ and Jacobs J placed on those clauses in that case. The exemption indorsed on the exchange order is not so wide as to preclude the existence of any contractual obligation on the part of the defendant when the exchange order was issued. To the contrary, the exchange order contains promises to refund the fare if the cruise is cancelled and to exchange the exchange order for a "Sun Line ticket when boarding vessel" if the cruise is to proceed. So far as appears from the terms of the exchange order, if the cruise proceeds, the passenger is contractually entitled on presentation of the exchange order to a ticket entitling him to be carried. The defendant reserves no right to cancel any ticket or booking or to refuse to carry the passenger named in the [227] exchange order if the booked cruise proceeds. True it is that cl 3 of the Sun Line ticket purports to reserve those rights but, if the contract is made when the fare is paid, the ticket cannot alter the parties' contractual rights and obligations. If it had been intended that no contract should come into existence before the issue of the ticket "when boarding vessel", no consideration would have moved from the defendant to support the defendant's right (as asserted in the exchange order) to refuse to refund the passage money in the event of a passenger cancelling his passage. The proposition that no contract was made when the exchange order was issued in Sydney must be rejected. Next it is necessary to determine whether the contract then made was the contract of carriage and, if so, whether it contained the exclusive foreign jurisdiction clause.

The contract made when the exchange order was issued obliged the defendant to issue a ticket in exchange for the exchange order when the passenger was boarding the vessel. A ticket containing conditions of carriage is ordinarily treated as an offer by the carrier to carry on those conditions, no contract coming into existence until the offer is accepted by the passenger. This was a ground assigned by each of the judgments in *MacRobertson Miller* for holding the ticket not to be an agreement or a memorandum of agreement. Their Honours held that there was no contract of carriage until sometime after the ticket had been issued — until the time when the passenger was provided with a seat (per Barwick CJ (1975) 133 CLR, at 134) or when the passenger had intimated his acceptance of the ticket and its conditions or after the passing of a reasonable time during which the passenger has had a reasonable opportunity of reading the ticket and its conditions (per Stephen J (1975) 133 CLR,

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at 139) or when the passenger presents the ticket and embarks on the carriage (per Jacobs J (1975) 133 CLR, at 146). As Stephen J said ((1975) 133 CLR, at 137):

> The conventional analysis of the formation of contracts for the carriage of passengers in those somewhat more leisurely transactions which involve the issue of a ticket in return for payment of a fare and the subsequent performance of the contract by the act of transportation, is to regard the ticket as the offer, the contract being made upon acceptance of that offer by the passenger.

But the conventional analysis cannot be applied to a ticket which the defendant is obliged to issue in exchange for an exchange order when a passenger is boarding a vessel. It can hardly have been the parties' intention at the time when the passenger pays his fare that the ticket to be given him on boarding should be a mere offer of [228] carriage. Much less could it have been their intention that the offer might contain exemption clauses which were unknown to the passenger when the original contract was made. The arrangements contemplated at the time of the issue of the exchange order for exchanging that document for a ticket cannot reasonably support the hypothesis that when issued the ticket might be a mere offer containing exemption clauses which should bind the plaintiff only upon subsequent acceptance. Apart from the insufficiency of opportunity for the passenger who is boarding a vessel to read the conditions printed on the ticket and to elect whether to accept them, the election could be made only after travelling to Greece and obtaining the ticket, and the terms of the exchange order would require a passenger who then elected to decline the offer to forfeit the fare already paid. The better analysis of the transaction is that the defendant was bound to issue a ticket in exchange for the exchange order in performance of a contract of carriage already made, but the defendant was given no right to introduce new conditions of carriage by printing them on the ticket. The payment of the fare may rightly be regarded as the price of an option to acquire a ticket, but the option was not to acquire a mere piece of paper. It was an option to acquire a voucher or certificate of entitlement to be carried on terms already agreed — not on terms which the parties had yet to agree on. It was too late after the original contract was made to add conditions which were not incorporated in it. The inclusion of cl 13 on the ticket could not alter the terms of a contract already made: *Olley v Marlborough Court* [1949] 1 KB 532. A condition printed on a ticket is ineffective to alter a contract of carriage if the ticket is issued after the contract is made: *Daly v General Steam Navigation Co Ltd (The "Dragon")* [1979] 1 Lloyd's Rep 257, at 262. Perhaps the defendant expected that the contract made when the exchange order was issued would contain all the terms and conditions which, according to the brochure given to Dr Fay, were printed on "the Passenger Ticket Contract which may be inspected at any Sun Line office". But, as we shall see, that expectation was not fulfilled, and not simply because no copy of the Passenger Ticket Contract was available at JMA Tours in Sydney.

If a passenger signs and thereby binds himself to the terms of a contract of carriage containing a clause exempting the carrier from liability for loss arising out of the carriage, it is immaterial that the passenger did not trouble to discover the contents of the contract. But where an exemption clause is contained in a ticket or other [229] document intended by the carrier to contain the terms of carriage, yet the other party is not in fact aware when the contract is made that an exemption clause is intended to be a term of the contract, the carrier cannot rely on that clause unless, at the time of the contract, the carrier had done all that was reasonably necessary to bring the exemption clause to the passenger's notice: *Hood v Anchor Line (Henderson Brothers) Ltd* [1918] AC 837, pp 842, 844; *McCutcheon v David MacBrayne Ltd* [1964] 1 WLR 125, at 129; [1964] 1 All ER 430, at 433; *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 at 169–70 per Lord Denning MR, and [1971] QB, at 172–3 per Megaw LJ. In differing circumstances, different steps may be needed to bring an exemption clause to a passenger's notice, especially if the clause is an unusual one. In the present case, the only step which the defendant took to bring the exclusive foreign jurisdiction clause to the plaintiff's notice before the fare was paid was the note in the brochure that the conditions of carriage were printed in the (unavailable) Passenger Ticket Contract. In *Hollingworth v Southern Ferries Ltd (The "Eagle")* [1977] 2 Lloyd's Rep 70, it was held that a mere statement in a carrier's brochure that the carrier contracted

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on its conditions of carriage was not enough to make those conditions terms of a contract of carriage subsequently made with an intending passenger who had read the brochure.

The exchange order mentions "the Sun Line passage contract" but gives particulars only of Art 2 of that document. It does not bring to the notice of the passenger any exclusive foreign jurisdiction clause. As Dr Fay was unaware of that clause, it did not become incorporated into the contract made when the exchange order was issued. In *The "Dragon"* [1979] 1 Lloyd's Rep, at 262 Brandon J (as he then was) pointed out that, if the carrier's conditions are not incorporated into the contract of carriage when it is made, the carrier cannot subsequently, "by issuing a ticket containing the conditions concerned, however clearly referred to in it, introduce such conditions into the contract when it was not subject to them originally". As the contract of carriage was made when the exchange order was issued and as the exclusive jurisdiction clause contained in cl 13 of the ticket was not then known to Dr Fay and as insufficient was done to bring such a clause to his attention, that clause was not incorporated into the contract of carriage and could not subsequently be incorporated by insertion in the ticket issued pursuant to the original contract. This conclusion differs from the conclusion at which their Honours arrived in the courts below. It [230] will not, I hope, be thought discourteous if I refrain from analysing the differing reasons advanced by their Honours and merely point out that the two factors which lead me to reject the application to this case of the "conventional analysis" of the ticket cases is that the ticket in this case was issued in performance of an antecedent contract and that, if the ticket were a mere offer, a passenger's election to decline carriage subject to an exemption clause could be exercised only after travelling to Greece and only if the fare were forfeited.

[WILSON, TOOHEY, DEANE and GAUDRON JJ agreed that the contract was concluded in New South Wales and that the conditions on the ticket did not form part of the contract. BRENNAN, DEANE and GAUDRON JJ (WILSON and TOOHEY JJ dissenting) held that the action should not be stayed.]

Appeal dismissed.

Knowledge or notice

[12.60] If the timing requirement is satisfied, a party will be bound by delivered or displayed terms if he or she has either knowledge or reasonable notice of the terms. If a party knows that the relevant document contains contractual terms, he or she will be bound by those terms regardless of whether he or she has read them. In the absence of knowledge, a party will be bound by delivered or displayed terms if he or she had reasonable notice of the terms. What will amount to reasonable notice will depend on the type of contract, the nature of the terms and the circumstances of the case.

Thornton v Shoe Lane Parking

[12.65] *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 (Court of Appeal) – Appeal from Mocatta J.

[FACTS: The *plaintiff*, Mr Thornton, parked his motor car at a multi-storey automatic car park owned by the *defendant*. He had never gone there before. There was a notice on the outside headed "Shoe Lane Parking". It gave the parking charges: "5s for two hours; 7s 6d for three hours", and so forth; and at the bottom: "All Cars Parked at Owner's Risk." There was a traffic light which showed red. As Mr Thornton drove in and got to the appropriate place, the traffic light turned green and a ticket was pushed out from the machine. Mr Thornton took the ticket and drove on into the garage. Mr Thornton then left his car in the garage. When Mr Thornton returned to collect his car, there was

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an accident, and Mr Thornton was severely injured. The trial judge awarded Mr Thornton £3 637 6s 11d.]

LORD DENNING MR: [167] On this appeal the garage company do not contest the judge's findings about the accident. They acknowledge that they were at fault, but they claim that they are protected by some exempting conditions. They rely on the ticket which was issued to Mr Thornton by the machine. They say that it was a contractual document and that it incorporated a condition [168] which exempts them from liability to him. The ticket was headed "Shoe Lane Parking". Just below there was a "box" in which was automatically recorded the time when the car went into the garage. There was a notice alongside: "Please present this ticket to cashier to claim your car." Just below the time, there was some small print in the left hand corner which said: "This ticket is issued subject to the conditions of issue as displayed on the premises." That is all.

Mr Thornton says he looked at the ticket to see the time on it, and put it in his pocket. He could see there was printing on the ticket, but he did not read it. He only read the time. He did not read the words which said that the ticket was issued subject to the conditions as displayed on the premises.

If Mr Thornton had read those words on the ticket and had looked round the premises to see where the conditions were displayed, he would have had to have driven his car on into the garage and walked round. Then he would have found, on a pillar opposite the ticket machine, a set of printed conditions in a panel. He would also have found, in the paying office (to be visited when coming back for the car) two more panels containing the printed conditions.

[His Lordship set out the relevant condition and continued:]

The important thing to notice is that the company seek by this condition to exempt themselves from liability, not only for damage to the car, but also for injury to the customer howsoever caused … If the condition is incorporated into the contract of parking, it means that Mr Thornton will be unable to recover any damages for his personal injuries which were caused by the negligence of the company.

[169] We have been referred to the ticket cases of former times from *Parker v South Eastern Railway Co* (1877) 2 CPD 416 to *McCutcheon v David MacBrayne Ltd* [1964] 1 WLR 125. They were concerned with railways, steamships and cloakrooms where booking clerks issued tickets to customers who took them away without reading them. In those cases the issue of the ticket was regarded as an *offer* by the company. If the customer took it and retained it without objection, his act was regarded as an *acceptance* of the offer. These cases were based on the theory that the customer, on being handed the ticket, could refuse it and decline to enter into a contract on those terms. He could ask for his money back. That theory was, of course, a fiction. No customer in a thousand ever read the conditions. If he had stopped to do so, he would have missed the train or the boat.

None of those cases has any application to a ticket which is issued by an automatic machine. The customer pays his money and gets a ticket. He cannot refuse it. He cannot get his money back. He may protest to the machine, even swear at it. But it will remain unmoved. He is committed beyond recall. He was committed at the very moment when he put his money into the machine. The contract was concluded at that time. It can be translated into offer and acceptance in this way: the offer is made when the proprietor of the machine holds it out as being ready to receive the money. The acceptance takes place when the customer puts his money into the slot. The terms of the offer are contained in the notice placed on or near the machine stating what is offered for the money. The customer is bound by those terms as long as they are sufficiently brought to his notice beforehand, but not otherwise. He is not bound by the terms printed on the ticket if they differ from the notice, because the ticket comes too late. The contract has already been made: see *Olley v Marlborough Court Ltd* [1949] 1 KB 532. The ticket is no more than a voucher or receipt for the money that has been paid (as in the deckchair case, *Chapelton v Barry Urban District Council* [1940] 1 KB 532) on terms which have been offered and accepted before the ticket is issued. In the present case the offer was contained in the notice at the entrance giving the charges for garaging and saying "at owner's risk",

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that is, at the risk of the owner so far as damage to the car was concerned. The offer was accepted when Mr Thornton drove up to the entrance and, by the movement of his car, turned the light from red to green, and the ticket was thrust at him. The contract was then concluded, and it could not be altered by any words printed on the ticket itself. In particular, it could not be altered so as to exempt the company from liability for personal injury due to their negligence.

Assuming, however, that an automatic machine is a booking clerk in disguise — so that the old fashioned ticket cases still apply to it. We then have to go back to the three questions put by Mellish LJ in *Parker v South Eastern Railway Co*, subject to this qualification: Mellish LJ used the word "conditions" in the plural, whereas it would be more apt to use the word "condition" in the singular, as indeed the [170] Lord Justice himself did on the next page. After all, the only condition that matters for this purpose is the exempting condition. It is no use telling the customer that the ticket is issued subject to some "conditions" or other, without more: for he may reasonably regard "conditions" in general as merely regulatory, and not as taking away his rights, unless the exempting condition is drawn specifically to his attention … Telescoping the three questions, they come to this: the customer is bound by the exempting condition if he knows that the ticket is issued subject to it; or, if the company did what was reasonably sufficient to give him notice of it.

Mr Machin admitted here that the company did not do what was reasonably sufficient to give Mr Thornton notice of the exempting condition. That admission was properly made. I do not pause to inquire whether the exempting condition is void for unreasonableness. All I say is that it is so wide and so destructive of rights that the court should not hold any man bound by it unless it is drawn to his attention in the most explicit way. It is an instance of what I had in mind in *J Spurling Ltd v Bradshaw* [1956] 1 WLR 461, 466. In order to give sufficient notice, it would need to be printed in red ink with a red hand pointing to it — or something equally startling. But, although reasonable notice of it was not given, Mr Machin said that this case came within the second question propounded by Mellish LJ, namely that Mr Thornton "knew or believed that the writing contained conditions". There was no finding to that effect. The burden was on the company to prove it, and they did not do so. Certainly there was no evidence that Mr Thornton knew of this exempting condition. He is not, therefore, bound by it …

I would, therefore, dismiss the appeal.

[12.70] MEGAW LJ: For myself, I would reserve a final view on the question at what precise moment of time the contract was concluded …

[171] The essence of the decision in *Parker v South Eastern Railway Co*, was analysed by Lord Hodson in *McCutcheon v David MacBrayne Ltd* (at 129) as follows:

> That case, affirmed in *Hood v Anchor Line (Henderson Bros) Ltd*, established that the appropriate questions for the jury in a ticket case were: (1) Did the passenger know that there was printing on the railway ticket? (2) Did he know that the ticket contained or referred to conditions? and (3) Did the railway company [172] do what was reasonable in the way of notifying prospective passengers of the existence of conditions and where their terms might be considered?

[On the first question, his Lordship said that the plaintiff knew that there was writing on the ticket; on the second, that there was no clear finding that the plaintiff knew that the ticket contained conditions but the onus was on the defendants to establish that and they had not done so; on the third, that in view of the nature of the condition there had to be some clear indication to the plaintiff as to its purport and there had not been any; that in any event, the defendants had not taken proper steps to bring to the notice of the plaintiff at the time of making the contract that it was subject to any special conditions. He continued:] [173] I think it is a highly relevant factor in considering whether proper steps were taken fairly to bring that matter to the notice of the plaintiff that the first attempt to bring to his notice the intended inclusion of those conditions was at a time when as a matter of hard reality it would have been practically impossible for him to withdraw from his intended entry upon

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the premises for the purpose of leaving his car there. It does not take much imagination to picture the indignation of the defendants if their potential customers, having taken their tickets and observed the reference therein to contractual conditions which, they said, could be seen in notices on the premises, were one after the other to get out of their cars, leaving the cars blocking the entrances to the garage, in order to search for, find and peruse the notices! Yet unless the defendants genuinely intended that potential customers should do just that, it would be fiction, if not farce, to treat those customers as persons who have been given a fair opportunity, [174] before the contracts are made, of discovering the conditions by which they are to be bound.

I agree that this appeal should be dismissed.

SIR GORDON WILLMER: I have reached the same conclusion, and there is very little for me to add. It seems to me that the really distinguishing feature of this case is the fact that the ticket on which reliance is placed was issued out of an automatic machine. I think it is right to say — at any rate, it is the fact so far as the cases that have been called to our attention are concerned – that in all the previous so called "ticket cases" the ticket has been proffered by a human hand, and there has always been at least the notional opportunity for the customer to say – if he did not like the conditions. "I do not like your conditions: I will not have this ticket." But in the case of a ticket which is proffered by an automatic machine there is something quite irrevocable about the process. There can be no locus poenitentiae …

Appeal dismissed.

Unusual terms

Baltic Shipping Co v Dillon ("The Mikhail Lermontov")

[12.75] *Baltic Shipping Co v Dillon (The Mikhail Lermontov)* (1991) 22 NSWLR 1 (New South Wales Supreme Court, Court of Appeal) – Appeal from Carruthers J.

[FACTS: The *respondent* made a booking for a cruise with a shipping company, the *appellant*, through a travel agent and received a booking acknowledgment. Later the respondent received a booking form, which asserted that a contract of carriage was made "only the time of issuing of tickets" and which contained details of penalties for cancellation of the booking. One month later, the respondent paid the balance of the fare and two weeks prior to the commencement of the cruise she received a ticket. The ticket contained terms and conditions limiting the liability of the shipping company, the appellant, for personal injury and personal effects. On the 10th day of the cruise. the ship sank. As a result, the respondent suffered physical injury, nervous shock and the loss of all her belongings. The respondent brought proceedings claiming damages. The appellant eventually admitted liability. However, the appellant argued, inter alia, that provisions in the contract operated to limit its liability for damages.]
KIRBY P:

The contract between the parties

[22] Much time at the trial and before this Court was taken in examining the sequence of events which led to the issue of the passenger ticket with its terms and conditions. The appellant asserted that those terms and conditions were incorporated in the contract between it and the respondent by which she was carried on the cruise. It was not contested that the respondent had received such a passenger ticket. Her copy went down with the "Mikhail Lermontov". But there was no issue about the common form in which the terms and conditions appeared. The issue was whether those terms, including the provision for limitations on liability, had been accepted by the respondent so as to

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be incorporated in the contract between the parties. The appellant urged that, by a "conventional analysis" of the dealings between them, the terms and conditions had been incorporated. Caruthers J concluded that they had not.

The appellant put its case in various ways. However, principally it suggested that the contract of carriage was made between it and the respondent at the time when the ticket was issued or, alternatively, thereafter when the passenger had been given the opportunity to consider the terms and conditions and opted to commence the carriage: cf *Hood v Anchor Lines (Henderson Brothers) Ltd* [1918] AC 837 at 841; *MacRobertson Miller Airline Services v Commissioner of State Taxation (WA)* (1975) 133 CLR 125 at 136, 142; see also *Oceanic Sun Line Special Shipping Co Inc v Fay* (1988) 165 CLR 197 at 207, 227. Thus, the appellant argued that the contract of carriage in the instant case was made when the ticket was issued by the appellant on or about 24 January 1986 or, at the least, when the respondent commenced [23] the cruise on 7 February 1986, having by then certainly had the opportunity to consider its terms (including the terms of limitation).

[His Honour outlined the sequence of events leading up to the commencement of the cruise and continued:]

The appellant argued that the booking form was not, as its terms clearly showed, the contract of carriage for the cruise. Whether or not it gave rise to other contractual entitlements was irrelevant to the present concern. This was to define the contract between the parties and to ascertain its terms. Upon that question, the appellant urged that the contract of carriage came into existence at the time of the issue of a ticket, just as the booking form said it would. Alternatively, the ticket received by the respondent in late January represented the appellant's "offer". By embarking upon the cruise, the respondent must be taken to have "accepted" that offer and the terms and conditions contained in it. The "conventional analysis" for contracts of carriage such as the present was described in the House of Lords in a Scottish appeal, in *Hood v Anchor Line (Henderson Brothers) Ltd*. In that case, the question was asked rhetorically what more the shipowner could have done to give reasonable notice to the passenger of the conditions of the proposed contract limiting the shipowner's liability: see, eg, Lord Parmoor (at 848). In the facts of that case their Lordships concluded that "the conditions printed on the face of [24] the ticket were part of the contractual relationship between the parties and, as such, binding on the appellant". However, there had been much development of the law since 1918 in the analysis of contractual relations such as the present arising out of shipping and airline contracts. Brandon J (as Lord Brandon was then) in *Daly v General Steam Navigation Co Ltd ("Dragon")* [1979] 1 Lloyd's Rep 257 at 262, analysed the conclusion of the contract of carriage in that case between the owners of the "Dragon" and the injured plaintiffs. He held that the contract of carriage was concluded at the time the booking was made and confirmed. But at that time the shippers had taken no steps of any kind to bring to the notice of the passenger the conditions on which they later sought to rely. Accordingly, his Lordship held that the conditions contained in the printed form were not part of the contract. Thus, the shipowners could not subsequently, by issuing a ticket containing the conditions, introduce such conditions into the contract when it was not subject to them originally. Once the contract was entered, it was not possible, without novation and the agreement of the passenger, to add further terms. The decision in the *Dragon* has been referred to, with apparent approval, in the High Court of Australia in *Oceanic Sun Line Special Shipping Co Inc v Fay* at 208, 228, 229, 256.

In the present case I am inclined to take the appellant's own form (for I believe that the CTC Cruises form can be so described) and to analyse the entry into an agreement with the passenger in the terms clearly laid down by the appellant itself. This made it plain that the booking document was not the contract of carriage. Instead, that contract would arise "only at the time of the issuing of tickets". At that stage, unless the passenger took certain initiatives of her own, she would have had no knowledge of, or opportunity to influence, the conditions and regulations printed on the tickets. The fact that they were available to passengers at CTC Cruises offices scarcely amounted to a sufficient compliance with the appellant's responsibility to bring unusual conditions at least to the notice of passengers such as the respondent before they would be bound by them. There were a number of unusual conditions in the subject of terms and conditions. They included (by cl

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26) reference to "units of account" and "special drawing rights" as defined by the International Monetary Fund. They also included (by cl 27) a duty of passengers to "observe and obey all notices and by-laws of the Soviet Ministry of Merchant Marine displayed on board the ship". They included the limitation of liability for damage expressed not in a dollar sum (which might have been understood) but in terms of the "units of account" which would mean nothing to the ordinary passenger. Thus the liability in respect of death or personal injury was limited to the odd sum of 46,666 units of account. The liability in respect of loss or damage to luggage was limited to 833 units of account per passenger per carriage. There were other unusual terms and conditions. Yet these are the terms and conditions which, by the express language of the agent's booking form were purportedly fixed upon the passenger "at the time of the issuing of tickets". The passenger would have no knowledge of precisely when that time would come about. He or she would have no effective say in the terms then purportedly imposed. In answer to the rhetorical question of Lord Parmoor, I would say that there was more, before the time fixed, that the carrier could have done to bring [25] the unusual provisions at least to the notice of the passenger. At the very least it could have drawn to attention, on its booking form, the fact of the limitation of liability for personal injury and damage to luggage. By doing so it would alert passengers to the obligation to make their own, adequate arrangements. This was not done.

The result is that, applying what I take to be the approach sanctioned by the High Court in *Oceanic Sun Line Special Shipping v Fay*, the contract of carriage here came into force at the time appointed and notified in the booking form. Yet at that time the respondent had not had a reasonable opportunity to see and agree to the terms and conditions which the appellant sought subsequently to impose upon her by the delivery of the passenger ticket. Once the contract was made, it was not open, without fresh agreement, for further terms and conditions to be imposed by the unilateral action of one contracting party. Thus the mere presentation by the appellant to the respondent of the passenger ticket with its terms and conditions would not fix the respondent with acceptance of those terms and conditions, simply because thereafter she began the cruise. She was entitled, in law, to take the view that she would be issued with a ticket which would contain no unusual provisions, specifically no provisions of which she was not on notice limiting the appellant's liability to her. She was entitled to regard the subsequent purported imposition of such conditions upon her by unilateral acts of the appellant as wholly ineffective. Almost certainly, the respondent gave no thought to these matters. It is probably only bored lawyers or travel executives who, in the solitude of a ship or airline cabin, actually read the fine print of terms and conditions such as those relied upon by the appellant here.

By the foregoing analysis, the respondent is not taken by law to have accepted the terms and conditions contained in the subsequently provided passenger ticket. In the claim in respect of luggage (the only one said to be relevant) she is therefore not limited to the sum specified by reference to "units of account" in cl 3(b). Thus, her entitlement to damages generally may be calculated, as Carruthers J held, without limitation imposed by the contract of carriage.

[GLEESON CJ also held that the limitation clauses did not form part of the contract of carriage. MAHONEY JA dissented on this point.]

Appeal dismissed.

[12.80] **Note**

This case was appealed to the High Court on other issues, see *Baltic Shipping Co v Dillon* (1993) 176 CLR 344, extracted at [27.180].

INCORPORATION BY A COURSE OF DEALINGS

[12.85] Where parties have had a history of dealings, contractual terms introduced in earlier contracts may be incorporated into a subsequent contract. This possibility is illustrated in *Balmain New Ferry Co Ltd v Robertson* (1906) 4 CLR 379.

Balmain New Ferry v Robertson

[12.90] *Balmain New Ferry Co Ltd v Robertson* (1906) 4 CLR 379 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: The Balmain New Ferry Company Ltd, the *company*, carried on the business of a harbour steam ferry from the City of Sydney to Balmain, in connection with which they used a wharf. Fares were not taken on the steamers or on the Balmain side but were all collected on the Sydney wharf. The company had placed over the entrance to the wharf a notice stating that a fare of one penny must be paid by all persons entering or leaving the wharf, whether they had travelled by the company's boats or not. Robertson, the *plaintiff*, paid the fare of one penny and was admitted to the wharf through a turnstile. Having missed his boat, he attempted to leave the wharf by another turnstile which was the only means of exit except by water. When he refused to pay a second penny, the company's officers endeavoured to detain him. The plaintiff eventually succeeded in forcing his way through a small opening beside the turnstile. He brought an action against the company for assault and false imprisonment. At the trial of the action, the plaintiff obtained a verdict for £100 damages. On appeal, the Supreme Court granted a rule nisi for a new trial or a nonsuit or verdict for the company. The rule was subsequently discharged with costs. The plaintiff appealed to the High Court.]

O'CONNER J: [390] The fallacy in the plaintiff's legal position lies in the assumption that, immediately he abandoned the contract to be carried to Balmain by the company's steamer, he was in the same position as if the wharf was one to which the public had free right of access, that, finding his exit barred by the turnstiles, he was entitled either to squeeze past them, or to demand from the company's officers that they should be specially released to let him through.

Whether that assumption is or is not justifiable depends upon the terms on which the plaintiff was permitted to enter the wharf. In ascertaining those terms it must be remembered that the wharf was not a place to which the public had free right of access. If it had been so no one could legally place upon the wharf any bar or obstruction to the free entry or exit of any member of the public. But it was not a public place in that sense. It was private property. No one had a right to enter there without the company's permission, and they could impose on the members of the public any terms they thought fit as a condition of entering or leaving the premises.

What were the terms on which the plaintiff entered the company's wharf? There was no express contract, and the terms must therefore be implied from the circumstances. In dealing with the circumstances I leave the question of the notice board out of consideration. In my view, it is immaterial whether the company did what was reasonable to direct public attention to the notice, or whether the plaintiff ever read it until his attention was called to it by the officer at the turnstile. But as to the material facts from which the contract must be implied there is no dispute. The plaintiff was aware that the only entrance to and exit from the wharf on the land side was through the turnstiles … [391] Having travelled on many occasions backward and forward by the company's boats, and, as he says, paid his fare to the officers at the turnstiles, he must have been aware that the company's method of conducting their business was to release the turnstiles only on payment of a penny, and that in every case where there was a departure from that method "the tally of the turnstile," as he terms it, would be thrown out.

Such being the condition of the company's premises, and such being their method of carrying on their business, the plaintiff paid his penny to the officer and went through the entry turnstile on to the wharf. The first question is, what is the contract to be implied from the plaintiff's payment at and passing through the turnstiles under these circumstances? It is that in consideration of that payment the company undertook to carry him as a passenger to Balmain by any of their ferry boats from that

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wharf. That is the only contract which could be implied from those circumstances, and the plaintiff was permitted to enter the wharf for the purpose of that contract being performed. It is not denied that the company were ready to perform their part, but the plaintiff, as far as one party can do so, rescinded the contract and determined to go back from the wharf to the street. What then were his rights? They were, in my opinion, no more and no less than they would have been if he had landed from his own boat at the company's wharf. He was on private property. He had not been forced or entrapped there. He had entered it of his own free will and with the knowledge that the only exit on the land side was through the turnstile, operated as a part of the company's system of collecting fares in the manner I have mentioned. If he wished to use the turnstile as a means of exit he could only do so on complying with the usual conditions on which the company opened them. The company were lawfully entitled to impose the condition of a penny payment on all who [392] used the turnstiles, whether they had travelled by the company's steamers or not, and they were under no obligation to make an exception in the plaintiff's favour. The company, therefore, being lawfully entitled to impose that condition, and the plaintiff being free to pass out through the turnstile at any time on complying with it, he had only himself to blame for his detention, and there was no imprisonment of which he could legally complain. Next, had he the right to force his way through the narrow space between the turnstile and the bulkhead? Clearly he had not. If the turnstile had filled the whole space between the bulkheads, it could not be contended that the plaintiff would have been entitled to break it open in order to pass through. The company's officers were, in my opinion, entitled to regard the turnstile as blocking the whole space, not only for the necessary protection of the mechanism of the turnstiles from injury, but also because it was a necessary part of their system of collecting fares on entry and exit that the turnstile should be an effective barrier against entry and exit of any person except on the company's conditions. They were therefore entitled to prevent the plaintiff from squeezing through the space in question, and were justified in meeting the plaintiff's forcible attempt with as much force as was reasonably necessary to defeat it. It is not alleged that they did more, and any assault they may have committed on the plaintiff under these circumstances was justified. In this connection I may observe that it is not necessary to determine whether or not this justification is, strictly speaking, open to the company on the pleadings. The case has been conducted all through on the footing that it is open, and, if it were necessary, the Court would make any amendment required to formally shape the issues in accordance with the way in which both parties regarded them at the trial …

[GRIFFITH CJ concurred with the judgment of O'CONNOR J.]

Appeal allowed.

[12.95] For a term to be incorporated by a course of dealings, that course of dealings must have been regular and uniform: *Henry Kendall & Sons v William Lillico & Sons Ltd* [1969] 2 AC 31; *Chattis Nominees Pty Ltd v Norman Ross Homeworks Pty Ltd* (1992) 28 NSWLR 338, 343; *McCutcheon v David MacBrayne Ltd* [1964] 1 WLR 125. Also *Hardwick Game Farm v Suffolk Agricultural Poultry Association* [1969] 2 AC 31, 104 and 115. In addition, the document relied upon in previous transactions must also reasonably be considered a contractual document, rather than having the appearance of a mere receipt or docket.

Rinaldi & Patroni v Precision Mouldings

[12.100] *Rinaldi & Patroni Pty Ltd v Precision Mouldings Pty Ltd* (1986) WAR 131 (Supreme Court of Western Australia (Full Court)).

[FACTS: The *respondent* carried on the business of constructing fishing boats. It agreed with the *appellants* that the appellants would transport a 42 foot fishing vessel to Melbourne at a price of

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$3,200. On the outskirts of Melbourne, the vehicles on which the boat was being transported drove under a low bridge, with which the boat collided. As a result, the boat was extensively damaged.

Similar contracts between the parties had been entered into on nine or 10 previous occasions. The practice between the parties was as follows: the parties would agree orally on the telephone on the cartage of a boat. The cost was subsequently worked out and entered by the appellants' driver in a book of "cart notes" which were carbonised and prepared in triplicate for signature by the consignee (ie the person to whom the boat was being sent). The third copy of the cart note would be stapled to an invoice and sent by the appellants to the respondent for payment. On the face of each note were the words: "All goods are accepted subject to conditions on reverse." On the back of each note was a list of printed conditions. One of these conditions, condition 5, would, if a term of the contract of carriage, protect the appellants from a claim by the respondent for damage done to the boat by the negligence of the appellants or their servants, agents or subcontractors. The respondent brought an action to recover damages for the damage caused to the boat. The appellants relied in defence on condition 5.]

BURT CJ: [135] The appellants … do not assert that the respondent knew of the conditions, particularly condition 5. Their case is that it had constructive knowledge of that condition and that that is enough to sustain a finding that that condition became a term of the contract of carriage. In argument it was conceded that there was no basis upon which the term could be implied in the contract of carriage first entered into which on the facts would appear to be a contract entered into on 30 April 1980 — cart note 13385. The submission is that at some unspecified time thereafter, the oral agreements should be held to have been made upon the terms of the "condition" and it should be so held by reason of "a course of dealing" between the parties. The proposition expressed in general terms is that if it should appear that the parties had over a period of time been conducting business upon terms excluding liability then it should be held that on the occasion in question they contracted upon that basis.

The difficulty in making good that proposition upon the facts of this case is evident enough. Once it is conceded that the use of the cart notes in the way in which they were used could not sustain a finding that the contract first entered into contained as a term cl 5 of the conditions, how does one then establish the relevant course of business which leads to the conclusion that without the respondent being fixed with actual knowledge of that term it is to be implied in subsequent contracts.

In developing his submission counsel for the appellants referred the Court to the following cases which will be considered in these reasons in chronological order. *Spurling v Bradshaw* [1956] WLR 461. This was a case in which the counterclaiming defendant had left with the plaintiff eight barrels of orange juice for storage. A few days later he received a "landing account" which on its face referred to the conditions in small type on the back. One such condition exempted the plaintiff from liability for any loss or damage. The defendant had received "landing accounts" from the plaintiff on many occasions although he had never taken the trouble to read them. The trial judge held that the conditions on the back of the landing account were incorporated into the contract of bailment and that the defendant was bound by them. And this conclusion was upheld by the Court of Appeal who, as I read the reasons, particularly the reasons of Denning LJ, upon which the appellants in this case particularly rely, dealt with the case as a "ticket case" and so turning upon whether the warehouseman did what was reasonably sufficient to give notice of the conditions within *Parker v South Eastern Railway Co* (1877) 2 CPD 416. And it was held that he did. The defendant had with respect to earlier contracts of bailment received many landing accounts from the plaintiff and he had been given reasonable notice of the conditions upon which the plaintiff was prepared to warehouse his goods. In addition, the particular contract relative to the orange juice was a continuing contract of bailment apparently requiring the defendant to make payments at regular [136] intervals for so long as the goods were in the plaintiff's possession and the course of dealings was established by the business done between the parties on previous occasions and by the defendant making a number of payments for the storage of his orange juice to cover periods additional to the period covered by the contract made when the goods were first delivered. As Lord Denning expressed it, at 467 of the report:

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> Next it was said that the landing account and invoice were issued after the goods had been received and could not, therefore, be part of the contract of bailment: but Mr Bradshaw admitted that he had received many landing accounts before. True he had not troubled to read them. On receiving this landing account, he took no objection to it, left the goods there, and went on paying the warehouse rent for months afterwards. It seems to me that by the course of business and conduct of the parties, these conditions were part of the contract.

As it seems to me, that case was essentially a "ticket case" and the "landing account" was a contractual document. I say that because on the facts the defendant simply sent his orange juice to the warehouseman plaintiff for storage. That was the offer and the offer was accepted by and in the terms of the "landing account" which contained the conditions which when viewed objectively were sufficiently drawn to the attention of the defendant. If that be the case it is of no assistance to the appellant on the facts of this case. It cannot be said here that the cart notes constituted an acceptance of the offer made by the respondent to the appellant whereby the appellant was requested to carry the respondent's boat. And it is not so contended it being conceded that the cart notes were post-contractual. *McCutcheon v MacBrayne (David)* [1964] 1 WLR 125. This was a case in which there had been a course of dealing, the earlier contracts being in writing. Those contracts contained the protective provision. The contract sued upon was an oral contract and the question was whether it should be agreed that the carrier would carry the plaintiff's car from the Hebrides to the mainland on the terms of the earlier contracts in writing which contained the protective term. The answer given by the House of Lords to that question was in the negative. In the course of his speech Lord Reid said, at 128 of the report that:

> The only other ground on which it would seem possible to import these conditions is that based on a course of dealing. If two parties have made a series of similar contracts each containing certain conditions, and then they make another without expressly referring to those conditions, it may be that those conditions ought to be implied.

And on the facts and for the reasons which he gives he held that there had been no established "constant course of dealing" and hence the implication could not be made. In the same way a course of dealing cannot be established on the facts of the instant case. On the facts of this case, as it seems to me, to contend that the conditions ought to be implied for that reason begs the question he asked because you must first find an earlier contract or contracts containing that term.

Hardwick Game Farm v Suffolk Agricultural and Poultry Producers Association [1969] 2 AC 31. In that case SAPPA had regularly received more than a hundred contract notes from Grimsdale in the course of dealing over three years and SAPPA knew of the conditions on the back of each contract note and never raised any query or objection and [137]

> the only reasonable inference from the regular course of dealing over so long a period is that SAPPA were evincing an acceptance of, and a readiness to be bound by, the printed conditions of whose existence they were well aware although they had not troubled to read them.

Per Lord Pearce at 113. That is not a case within which one can find anything to assist the appellants on the facts of this case.

Walter H Wright Pty Ltd v Hill & Co Pty Ltd [1971] VR 749. This case the trial judge held to be on all fours with the present case. The facts of that case can be taken directly from the headnote as follows:

> The defendant, which was a carrying company, contracted in September 1966 to carry machinery for the plaintiff. The contract was made orally by telephone between employees of the respective companies. The machinery was damaged in transit. Upon delivery of the machine two documents one relating to a crane used by the defendant in the course of the

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> removal, and the other relating to the carriage of the machinery itself, were presented by the defendant's employee to an employee of the plaintiff for signature and were signed.
>
> The latter document was in the form of an instruction to the defendant to carry the machinery from one place to another "Subject to the terms and conditions endorsed on the back". Then followed a description of the goods and other particulars. At the foot were the words: "see over for terms and conditions endorsed on the back hereof". On the back were endorsed a number of "Consignment Conditions" including "All goods are handled, lifted and/or carried entirely at the owner's risk. The carrier shall not be liable for any loss or damage of whatsoever kind, howsoever occasioned at any time and whether caused by any acts, defaults, or negligence of the carrier or otherwise howsoever". The other document was expressed to be a form of request for "Crane Service". On its face certain particulars were stated "Subject to the terms and conditions endorsed on the back hereof" and after the heading "Description of work" were the words in handwriting: "lift, carry and place machinery. Machine damaged when placed on site. Machine tipped over when removing skates". Conditions similar to those in the other document were endorsed on the back of it.
>
> There was evidence that on about ten occasions between February and September 1966 the defendant had carried goods for the plaintiff or associated companies and that on each occasion a document relating to the carriage of goods, in some respects differing on its face from the document in this action, but containing similar conditions on the back had, upon delivery, been presented to and signed by an employee of the plaintiff or associated company. On some occasions a crane service form, similar to the above, had been presented on delivery and signed, and duplicate copies of such documents were left with the plaintiff or associated company. There was no evidence that any employee of the plaintiff or associated company had ever read, or knew the contents of the terms and conditions, and the documents signed were regarded by the signatories as forms of delivery dockets.

Upon those facts it was held

> that there was no evidence upon which the jury could find that the terms and conditions endorsed on the back of the documents formed part of the contract, by implication or otherwise ….

Counsel for the appellants contends that this Court should not follow that [138] decision because, he submits, it is based upon obiter dicta of Lord Devlin in the *McCutcheon* (supra) case and he points out that those remarks have been doubted in later cases. I do not think that the decision of the Full Court is in any way dependent upon anything said by Lord Devlin in the *McCutcheon* case. The reasoning in *Hill's* case as I understand it is to be found at 753 of the report. What is there being said is that in every case, as in the instant case, the document containing the exemption clause was presented for signature after the contract had been performed and that it was not a contractual document in that the respondent reasonably regarded it, being presented as it was, as being nothing more than an acknowledgment by it of the delivery of the goods. In that respect, I think that that case is on all fours with the present case. Indeed, that case on its facts would seem to me to be considerably stronger in favour of the importation of the condition. The documents in *Hill's* case were at least in terms contractual, each taking the form of a request to carry the goods and to provide the crane "subject to the terms and conditions endorsed on the back hereof" and each was after the event signed by an employee of the respondent. In the instant case the cart notes do not take the form of a request to carry the goods. They take the form of a request to accept delivery: "Please receive from Rinaldi & Patroni Pty Ltd." The cart note in its terms is a request by the first appellant to the consignee to carry the goods. The reasoning of the Full Court in *Hill's* case proceeds to point out that as the documents signed on the earlier occasions were not contractual documents there was

> no evidence of any course of prior dealing in which the parties mutually regarded the terms and conditions endorsed on the back of the form as part of the contract between them.

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This is the difficulty which I referred to earlier in these reasons.

Hollier v Rambler Motors (AMC) Ltd [1972] 2 QB 71. In this case the plaintiff had had his car repaired at the defendants' garage on three or four occasions over a period of five years and at least on two occasions he had signed a form, which he did not read, containing the printed words: "The company is not responsible for damage caused by a fire to customer's cars on the premises." By an oral agreement made between the plaintiff and the defendants, the defendants agreed to repair the plaintiff's car and while on their premises the car was damaged by a fire caused by the defendant's negligence. On appeal it was held that there was no sufficient course of contract to exempt the defendants from their own negligence. The reason for that as expressed by Salmon LJ at 76 report was that:

> I am bound to say that, for my part, I do not know of any other case in which it has been decided or even argued that a term could be implied into an oral contract on the strength of a course of dealing (if it can be so called) which consisted of at the most three or four transactions over a period of five years.

There is, in my opinion, nothing to be found in that case which in any way supports the appellants' submissions in the instant case.

British Crane Corporation Ltd v Ipswich Plant Hire Ltd [1975] 1 QB 303. This was a case between parties

> both in the trade and of equal bargaining power … From the evidence it is clear that both parties knew that conditions were habitually [139] imposed by the supplier of these machines: and both parties knew the substance of those conditions.

per Denning MR at 311 of the report. In those circumstances it was held that the conditions were imported into the contract for the reasons expressed by Denning MR at that page as follows:

> I would not put it so much on the course of dealing, but rather on the common understanding which is to be derived from the conduct of the parties, namely, that the hiring was to be on the terms of the plaintiff's usual conditions.

So understood that case has no bearing upon the question upon which this appeal turns.

Eggleston v Marley Engineers Pty Ltd and BK and JG Mewett (1979) 21 SASR 51. The appellants' counsel places considerable importance upon this case. The case on its facts is not unlike the instant case. A manufacturing firm hired a mobile crane and a driver to lift and transport a large steel cylinder which was to be installed in its factory. And it had hired such a crane for work in its factory on a number of earlier occasions. The crane, it appears, would be supplied on request and on completion of the contract the crane driver would make out a docket in triplicate giving details of the time worked, which would be signed by the hirer to whom the first copy of the docket was given. Upon the front of the docket appeared the words: "This service is provided in accordance with the terms and conditions endorsed on the back hereof"; and upon the back of the first copy (but not upon the other copies) appeared some printed conditions, including a condition that the client indemnified the supplier of the crane against all claims, loss or damage sustained by the supplier as the result of any damage caused to any person or property by the operation of the crane. Upon injury having been caused to a worker by the negligence of the hirer and of the owner of the crane it was held that the hirer was not bound by the condition to indemnify because, although it knew that "there were some conditions on the back of the docket, it had not been proved that the firm was aware of the nature of the conditions …". I do not, with great respect, think that anything said by the Full Court in *Hill's* case (supra) compelled the trial judge in that case to reach that conclusion. In *Eggleston's* case (supra) it was held that:

> Mr Marley understood that the printed material on the back of the docket contained conditions applicable to the supply of cranes; but that he had not read them to find out what were the contents of them' at 62 of the report.

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But it was not so held in *Hill's* case. On the contrary, in *Hill's* case the "respondent had knowledge of the existence of the form, but it was unaware of the content of the terms and conditions on the back of it and regarded it, being presented as it was, as nothing more than an acknowledgment by it of the delivery of the goods" at 753 of the report.

In other words, in that case the hirer did not know and had no reason to know that the words printed on the back of the form "contained conditions applicable to the supply" of the machine which had been hired and it is in that sense and for that reason that the document was said not to be "a contractual document".

And in the present case, the finding was that "both parties regarded the white cart note as no more than identification of the act of delivery for the customer" and counsel for the appellant in his argument before us does not challenge that finding. He said of the white cart note that "its primary [140] function is to record the act of delivery of the goods". And as to the yellow cart note he said:

> Mr Justice Wallace found, and I want to make it perfectly clear, with respect, that I have no quarrel with his findings whatsoever … that the practice of attaching the third yellow copy of the cart note to the first defendant's invoice simply identified the work done and avoided the need to set out particulars in the invoice itself …. He (the trial judge) says it complements the actual invoice which was in fact a separate document. I have no quarrel with that finding because I think it is fundamentally correct.

And if that finding is accepted, and on the evidence I think it must be accepted, then the cart notes are not, in the sense in which the expression is used in *Hill's* case, "contractual documents" and it is for that reason that the terms printed on the back of them cannot, in my opinion, establish a course of dealing leading to the conclusion that they were incorporated by implication into subsequent contracts.

[BRINSDEN and SMITH JJ also held that the cart notes were not contractual documents and accordingly the terms on them were not incorporated by course of dealing into subsequent contracts.]

Appeal dismissed.

STATEMENTS MADE DURING NEGOTIATIONS

[12.105] Parties negotiating a contract may make a great many statements about matters relating to the contract. Should one of these statements prove false, the party to whom it was made may seek some kind of legal remedy. If the plaintiff can establish that the statement was *promissory*, and thus a term of the contract, then there will be a remedy for breach of contract. If, on the other hand, the statement is a mere *representation* and not a part of the contract, relief must be sought under the law relating to misrepresentation, as discussed in Part XIA of this text.

In determining whether an oral or other statement forms part of a written contract, the first issue to consider is whether evidence of the purported term is admissible to the court. The rule of evidence known as the parol evidence rule limits the extent to which extrinsic evidence is available to "add to or vary" the terms of a contract. Secondly, courts must consider whether the parties would have intended the statement to form part of the contract.

Entire agreement clauses

[12.110] Parties may expressly clarify their intention for a contract to be wholly in writing through a *merger* or *entire contract* clause, which states that the written contract contains the entire agreement of the parties. See further E Peden and JW Carter, "Entire Agreement – and

Similar – Clauses" (2006) 22 *Journal of Contract Law* 1 and C Mitchell, "Entire Agreement Clauses: Contracting Out of Contextualism" (2006) 22 *Journal of Contract Law* 222.

The parol evidence rule

[12.115] The evidence available to a court will be important in identifying the terms that form part of the contract and the construction given to those terms. In this inquiry, the common law regards contracts that the parties have reduced to writing as being in a special category, and severely limits the kind of evidence outside the written document *(extrinsic evidence)* that it will admit to determine what the terms are and what they mean. This rule is known as the *parol evidence rule*. The parol evidence rule is usually considered to consist of two parts. First, it prevents extrinsic evidence being given to add to, vary or contradict the terms of the contract as they appear in the document – the ambit of the contract. Secondly, the parol evidence rule limits the evidence that might be given to explain the meaning of those terms. The second part of the rule is considered in Chapter 13.

Evidence excluded

[12.120] The parol evidence rule excludes any evidence extrinsic to a contract in writing, including oral conversations, letters or early drafts of the contract.

Can extrinsic evidence be used to determine whether a contract is wholly in writing?

[12.125] In its application to identifying the terms of a contract, the parol evidence rule only applies to contracts wholly in writing. Thus, this aspect of the parol evidence rule will not apply to exclude evidence of the oral terms of a contract that are only partly in writing.

Where the parties have formalised their agreement in a written document which appears complete on its face, it may often reasonably be presumed that the parties intended that document would contain or *integrate* all of the terms of their bargain. The extracts from *Corbin on Contracts* and *State Rail Authority of New South Wales v Heath Outdoor Pty Ltd* (1986) 7 NSWLR 170 deal with the question of whether this presumption should be conclusive or whether extrinsic evidence should be allowed to establish the contrary in a particular case.

Corbin on Contracts

[12.130] *Corbin on Contracts* (1950), vol 3, pp 215–6.

When two parties have made a contract and have expressed it in writing to which they have both assented as the complete and accurate integration of that contract, evidence, whether parol or otherwise, of antecedent understandings and negotiations will not be admitted for the purpose of varying or contradicting the writing. This is in substance what is called the "parol evidence rule", a rule that scarcely deserves to be called a rule of evidence of any kind, and a rule that is as truly applicable to written evidence as to parol evidence. The use of such a name for this rule has had unfortunate consequences, principally by distracting the attention from the real issues that are involved. These issues may be any one or more of the following: (1) Have the parties made a contract? (2) Is that contract void or voidable because of illegality, fraud, mistake, or any other reason? (3) Did the parties assent to a particular writing as the complete and accurate "integration" of that contract? … No one of these issues can be determined by mere inspection of the written document.

State Rail Authority of NSW v Heath Outdoor

[12.135] *State Rail Authority of New South Wales v Heath Outdoor Pty Ltd* (1986) 7 NSWLR 170 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Holland J.

[FACTS: The *plaintiff*, Heath Outdoor, entered into a number of contracts with the State Rail Authority (SRA) relating to the placing of advertising materials on hoardings on land the property of the authority. Clause 6 of the 1981 contract provided: "The Authority may terminate this contract at any time upon giving to the advertiser one (1) calendar month's notice in writing of its intention to do so, but such action shall not give rise to any claim for compensation whatsoever on the part of the advertiser." In January 1983, the plaintiff contracted with a cigarette manufacturer to display cigarette advertising on the hoardings for a period of five years. In March 1983, the New South Wales government announced a decision to phase out cigarette advertising on government property. The implementation of this decision gave rise to a dispute between the parties which resulted in the SRA terminating the agreement in 1983. The following extract relates to the application of the parol evidence rule.]

MCHUGH JA: [190] It is now convenient to mention the circumstances of the signing of the 1981 contract. Discussions between the plaintiff and Mr Wierzbicki and Mr Newton, two officers of the defendant (SRA), concerning the making of that contract had taken place over a considerable time. The 1981 contract was concerned with a sign which the plaintiff was to erect at Duck Creek. It was for five years. Mr Low [managing director of the plaintiff] said that, when Mr Giles [an officer of the defendant] handed him a letter and a form of contract on 12 October 1981, he said to him: "that cl 6 on the back of the agreement was not in accordance with the agreement with Mr Wierzbicki and Mr Newton in our original undertaking." Mr Giles replied that the document was a standard authority document which could not be changed. Mr Giles said that there was no need for Mr Low to be concerned because he had "five years on the contract and it is very difficult for me to have that clause or any other clause altered". Mr Giles also said: "the only time that that clause is ever invoked is for non-payment of rent or if somebody wants to advertise objectionable advertising content." Mr Low said: "as long as I have your assurance that that is the case we can proceed." Mr Giles replied: "you need not be concerned as the terms of that agreement apply only to hoardings and poster panels that belong to us and where you would be placing your advertising. These don't affect you because you are building the plant and all we are doing is renting you the ground space." In cross-examination Mr Low said that Mr Giles told him that he could not change the standard terms and conditions in the defendant's printed advertising contract. Mr Low said that the reason he did not ask Mr Giles to cross out condition 6 was because "it became very evident to me that he was going to have difficulty having the clauses changed if he had to take them away". Mr Low said that immediately following the statements by Mr Giles he signed the contract.

The first submission of the plaintiff was that the letter dated 12 October 1981, which accompanied the advertising contract, must be regarded as part of the contract. That letter stated, inter alia:

> As agreed at our meeting on 25 September 1981, the contract has been drawn for a five (5) year period (1/12/81 to 30/11/86) and rental of $4,128 per annum for years one and two and $9,000 per annum for years three, four and five …

The construction of the sign must be carried out in accordance with the structural drawings submitted by you on 17 March 1981, and to the satisfaction of this Authority …

The attached indemnity forms and advertising contract will need to be completed and held in this office before approval will be given for this work to commence. The plaintiff says that the matters stated in the letter are part of the contractual terms and that, in the event of doubt as to the meaning of the [191] whole contract, greater weight must be given to the specially selected terms over the printed terms. The plaintiff contends that, if condition 6 is construed literally, it defeats the object and intent of the parties expressed in the special terms which are found in the letter and on the front page of the advertising contract. The defendant replies that the advertising contract stated in terms that it should commence from 1 December 1981 "and shall, unless sooner determined as provided in

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the said conditions of contract, continue until 30 November 1986". Even if one accepts the plaintiff's argument that the letter of 12 October 1981 is to be regarded as part of the contract, it does not assist the case for the plaintiff. There is no inconsistency between the letter and the conditions of the contract. The letter and the advertising contract when read together indicate that the parties entered upon a contract for a period of five years "until sooner determined". However, condition 6 gave the defendant the right to terminate the contract at any time on one month's notice in writing. The exercise of its right under condition 6 enabled the defendant to determine the contract before the five year period expired.

The next submission of the plaintiff was that the 1981 contract was partly oral and partly written. The plaintiff submitted that it is always open to a party to show that a written document is not the binding record of their contract … It is then said that the statements by Mr Giles about condition 6 were part of the contractual terms between the parties. A preliminary question which arises is whether the so called parol evidence rule prevents reliance on the oral assurances of Mr Giles. Under that rule parol evidence is not admissible to contradict or vary the terms of a written agreement. But it is a rule whose scope and rationale is often misunderstood. It has no operation until it is first determined that the terms of the agreement are wholly contained in writing. The tendering of oral evidence to prove a contractual term, therefore, cannot be excluded until it is determined that any terms in writing record the whole of the parties' agreement: *Corbin on Contracts* (1950), vol 3, p 385; *Air Great Lakes Pty Ltd v K S Easter (Holdings) Pty Ltd* (1985) 2 NSWLR 309 at 337.

When a person alleges that an agreement was partly oral and partly written, it is not always easy to determine whether the writing is the exclusive repository of the bargain. Williston claims that, when a document appears on its face to be a complete record of the parties' contract, it is conclusively presumed to be the contract: *Williston on Contracts* (3rd ed, 1961), s 633. However, Corbin takes a different view and says that the issue is whether the parties assented to a particular writing as the complete and accurate "integration" of the contract: *Corbin on Contracts* (1950), vol 3, pp 358–9. Support for Williston's approach is to be found in the judgment of Street CJ in *LG Thorne & Co Pty Ltd v Thomas Borthwick & Sons (A/asia) Ltd* (1956) 56 SR (NSW) 81 at 88; 73 WN (NSW) 9 at 14. But in my opinion the correct rule is that the existence of writing which appears to represent a written contract between the parties is no more than an evidentiary foundation for a conclusion that their agreement is wholly in writing. [192] In my opinion the English Law Commission correctly stated the law when it said: the mere production of a contractual document, however complete it may look, cannot as a matter of law exclude evidence of oral terms if the other party asserts that such terms were agreed. If that assertion is proved, evidence of the oral terms cannot be excluded because the court will, by definition, have found that the contractual terms are partly to be found in what was agreed orally as well as the document in question. No parol evidence rule could apply. On the other hand, if that assertion is not proved, there can be no place for a parol evidence rule because the court will have found that all the terms of the contract were set out in the document in question and, by implication, will thereby have excluded evidence of terms being found elsewhere: The Law Commission, *Law of Contract, The Parol Evidence Rule* (Cmnd 9700, January 1986), para 2.12 at 11.

While I think that the plaintiff was entitled to rely on the oral assurances of Mr Giles in support of its claim that the advertising contract and/or letter of 12 October 1981 did not contain the whole terms of the parties' agreement, I am of opinion that on the evidence the submission that the contract was partly oral should be rejected. The proper conclusion to be drawn from the discussion between the parties is that, as a matter of contract, condition 6 was one of the contractual terms and that its literal effect was to give the defendant an unfettered right to terminate the contract. Mr Giles made it plain that he had no authority to change any condition of the contract. Mr Low accepted this. He said that it became apparent to him that Mr Giles was going to have difficulty getting the clauses changed if he had to take them away. Mr Giles also informed Mr Low that the document was a standard authority document which could not be changed. Whatever effect the discussion between Mr Low and Mr Giles had, it did not add to the terms of the contract.

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Moreover, it is not possible to conclude that the assurances amounted to a collateral contract, since the terms of the assurances contradict the terms of condition 6: *Hoyt's Pty Ltd v Spencer* (1919) 27 CLR 133. The main contract can be the consideration for a collateral contract only when the terms of the collateral contract do not reduce or alter the rights created by the main contract.

[KIRBY P and GLASS JA agreed with MCHUGH JA on this issue.]

[12.140] Notes

1. Paragraph 2.7 of the English Law Reform Commission's Report (referred to by McHugh JA in the principal case) stated:

> We have now concluded that although a proposition of law can be stated which can be described as the "parol evidence rule", it is not a rule of law which correctly applied, could lead to evidence being unjustly excluded. Rather it is a proposition of law which is no more than a circular statement: *when it is proved or admitted that the parties to a contract intended that all the express terms of their agreements should be recorded in a particular document or documents, evidence will be inadmissible (because irrelevant) if it is tendered only for the purpose of adding to, varying, subtracting from or contradicting the express terms of that contract*. We have considerable doubts whether such a proposition should properly be characterised as a "rule" at all, but several leading textbook writers and judges have referred to it as a "rule" and we are content to adopt their terminology for the purposes of this report.

2. Although there is no High Court decision directly on this issue, a number of State courts have followed the views expressed in *State Rail Authority of New South Wales v Heath Outdoor Pty Ltd* (1986) 7 NSWLR 170 by McHugh JA as the correct approach to the parol evidence rule in identifying the terms of the contract. See, eg, *Skyrise Consultants Pty Ltd v Metroland Funds Management Ltd* [2011] NSWCA 406, [13].

3. In *Masterton Homes Pty Ltd v Palm Assets Pty Ltd* [2009] NSWCA 234, [90], Campbell JA described the principles applicable in deciding whether an agreement that parties have entered is one that is wholly in writing, or partly written and partly oral as follows:

> (1) When there is a document that on its face appears to be a complete contract, that provides an evidentiary basis for inferring that the document contains the whole of the express contractual terms that bind the parties: *Gillespie Brothers & Co v Cheney, Eggar & Co* [1896] 2 QB 59 at 62 per Lord Russell of Killowen CJ; *Gordon v Macgregor* (1909) 8 CLR 316 at 319-20 per Griffith CJ (with whom O'Connor J agreed), at 322-3 per Isaacs J; *Hoyt's Pty Ltd v Spencer* (1919) 27 CLR 133 at 143-4 per Isaacs J (with whom Rich J agreed); *Maybury v Atlantic Union Oil Co Ltd* (1953) 89 CLR 507 at 517 per Dixon CJ, Fullagar and Taylor JJ; *State Rail Authority (NSW) v Health Outdoor Pty Ltd* (1986) 7 NSWLR 170 at 191G-2C per McHugh JA (with whom Kirby P at 172G-3C and Glass JA at 180G agreed on this point); *Branir Pty Ltd v Owston Nominees (No 2) Pty Ltd* [2001] FCA 1833; (2001) 117 FCR 424 (FC) at 505-6 [280]-[281], 509 [293] per Allsop J (with whom Drummond and Mansfield JJ agreed); *Jessop v McInteer* [2003] QCA 170 (FC) at [53] per Muir J (with whom Fryberg J agreed).

(2) It is open to a party to prove that, even though there is a document that on its face appears to be a complete contract, the parties have agreed orally on terms additional to those contained in the writing: *Gillespie Brothers* at 62 per Lord Russell of Killowen CJ; *Gordon v Macgregor* at 319-20 per Griffith CJ, at 323 per Isaacs J; *Hoyt's v Spencer* at 143-4 per Isaacs J; *Hope v RCA Photophone of Australia Pty Ltd* (1937) 59 CLR 348 at 357 per Latham CJ; *Maybury v Atlantic Union Oil* at 517 per Dixon CJ, Fullagar and Taylor JJ; *Health Outdoor* at 191D-F per McHugh JA; *Carmichael v National Power Plc* [1991] 1 WLR 2042; [1999] 4 All ER 897 (UKHL) at WLR 2047B-D, F-H; All ER 901e-g, 901j-2b per Lord Irvine of Lairg LC (with whom Lords Goff of Chieveley, Jauncey of Tullichettle and Browne-Wilkinson agreed), at WLR 2049C-D, 2050B-D; All ER 903e-g, 904e-h per Lord Hoffmann (with whom Lords Goff of Chieveley and Jauncey of Tullichettle agreed); *Saad v TWT Ltd* [1998] NSWCA 199 at 6 per Handley JA (with whom Priestley and Powell JJA agreed); *Jessop v McInteer* at [51] per Muir J; *Equuscorp Pty Ltd v Glengallan Investments Pty Ltd* [2004] HCA 55; (2004) 218 CLR 471 at 483-4 [35]-[36] per Gleeson CJ, McHugh, Kirby, Hayne and Callinan JJ. Conversely, it is open to a party to prove that the parties have orally agreed that a document should contain the whole of the terms agreed between them: *NSW Cancer Council v Sarfaty* (1992) 28 NSWLR 68 at 77A-B per Gleeson CJ and Handley JA.

(3) The parol evidence rule applies only to contracts that are wholly in writing, and thus has no scope to operate until it has first been ascertained that the contract is wholly in writing: *Turner v Forwood* [1951] 1 All ER 746 (EWCA) at 749F per Denning LJ; *Heath Outdoor* at 191E, 192A-C per McHugh JA; *Norwest Beef Industries Ltd v Peninsular and Oriental Steam Navigation Co* (1987) 8 NSWLR 568 at 570B-C per Hope JA (with whom Samuels JA agreed); *NSW Cancer Council v Sarfaty* at 76G per Gleeson CJ and Handley JA; *Branir v Owston Nominees* at 508 [287] per Allsop J; *County Securities Pty Ltd v Challenger Group Holdings Pty Ltd* [2008] NSWCA 193 at [8] per Spigelman CJ; *Nicolazzo v Harb* [2009] VSCA 79 at [90] per Dodds-Streeton JA (with whom Ashley and Neave JJA agreed).

(4) Where a contract is partly written and partly oral, the terms of the contract are to be ascertained from the whole of the circumstances as a matter of fact: *Moore v Garwood* (1849) 4 Exch 681 at 689-90; 154 ER 1388 at 1391-2; 80 RR 738 at 745-6 per Patteson J delivering the judgment of the Court of Exchequer Chamber; *Stones v Dowler* (1860) 29 LJ Ex 122 at 124; 121 RR 882 at 884 per Martin B; *Bolckow v Seymour* (1864) 17 CB NS 107; 144 ER 43; 142 RR 272 at CB NS 121-2; ER 49; RR 282 per Byles J, at CB NS 122; ER 49; RR 282 per Keating J; *Palmer v Bank of Australasia* (1895) 16 NSWLR (L) 219 at 223-4 per Darley CJ, Windeyer and Cohen JJ (affirmed on a different ground on appeal to the Privy Council in *Bank of Australasia v Palmer* [1897] AC 540); *Deane v The City Bank of Sydney* (1904) 2 CLR 198 at 209 per Griffith CJ, Barton and O'Connor JJ; *J Evans & Son (Portsmouth) Ltd v Andrea Merzario Ltd* [1976] 1 WLR 1078 at 1083E-F; [1976] 2 All ER 930 at 935a-b (EWCA) per Roskill LJ; *Handbury v Nolan* (1977) 13 ALR 339 (HCA) at 341 per Barwick CJ, 348-9 per Jacobs J, (Aickin J agreed with both Barwick CJ and Jacobs J), at 346 per Stephen J (but dissenting as to whether the evidence established a partly written and partly oral agreement), (Gibbs J agreed with Stephen J); *Finucane v NSW Egg Corporation* (1988) 80 ALR 486 (FCA) at 520-1 per Lockhart J; *Carmichael v National Power* at WLR 2049C-50E; All ER 903f-4h per Lord Hoffmann; Lewison, *The Interpretation of Contracts*, 4th ed (2007) Sweet & Maxwell at [4.02] and cases there cited. Similarly, finding the terms of a wholly oral contract is a question of fact: *Gardiner v Grigg* (1938) 38 SR (NSW) 524 at 532 per Jordan CJ (with whom Nicholas J agreed); *Torbett v Faulkner* [1952] 2 TLR 659 (EWCA) at 661 per Romer LJ; *Handbury v Nolan* at 346 per Stephen J (with whom Gibbs J agreed); *Maggs v Marsh* [2006] EWCA Civ 1058; [2006] BLR 395 at [26] per Smith LJ (with whom Moses and Hallett LJJ agreed).

(5) In determining what are the terms of a contract that is partly written and partly oral, surrounding circumstances may be used as an aid to finding what the terms of the

contract are: *Stones v Dowler* at LJ Ex 124; RR 884 per Martin B; *Deane v The City Bank of Sydney* at 209 per Griffith CJ, Barton and O'Connor JJ; *Handbury v Nolan* at 341-2 per Barwick CJ, at 346 per Stephen J, at 348-9 per Jacobs J; *Liverpool City Council v Irwin* [1977] AC 239 at 253C-E per Lord Wilberforce. If it is possible to make a finding about what were the words the parties said to each other, the meaning of those words is ascertained in the light of the surrounding circumstances: *Deane v The City Bank of Sydney* at 209; *Handbury v Nolan* at 341-2, 346, 348-9. If it is not possible to make a finding about the particular words that were used (as sometimes happens when a contract is partly written, partly oral and partly inferred from conduct) the surrounding circumstances can be looked at to find what in substance the parties agreed: *County Securities v Challenger Group Holdings* at [7]-[8] per Spigelman CJ.

(6) A quite separate type of contractual arrangement to a contract that is partly written and partly oral is where there is a contract wholly in writing and an oral collateral contract: *J Evans & Son v Anthony Merzario* at WLR 1083C-E; All ER 934h-5a per Roskill LJ, at WLR 1084H; All ER 936c per Geoffrey Lane LJ; *Hoyt's v Spencer* at 144-5 per Isaacs J; *Equuscorp v Glengallan Investments* at 484 [36] per Gleeson CJ, McHugh, Kirby, Hayne and Callinan JJ.

Exceptions to the parol evidence rule in identifying terms

Collateral contracts

[12.145] A *collateral contract* is the name given to the contract made when one party makes a promise, connected to but independent of a main contract, and as consideration for that promise, the other party agrees to enter into the main contract. As Lord Moulton said in *Heilbut Symons & Co v Buckleton* [1913] AC 30, 47:

> It is evident, both on principle and on authority, that there may be a contract the consideration for which is the making of some other contract. "If you will make such and such a contract I will give you £100", is in every sense of the word a complete legal contract. It is collateral to the main contract, but each has an independent existence, and they do not differ in respect of their possessing to the full the character and status of a contract.

The parol evidence rule will not apply to exclude evidence of a collateral contract.

Requirements for establishing a collateral contract

[12.150] In *Heilbut Symons & Co v Buckleton* [1913] AC 30, Lord Moulton warned (at 47) that "collateral contracts must from their very nature be rare … They must be strictly proved". The burden of a party seeking to prove a collateral contract is eased where the alleged contract deals with a subject matter that one would not naturally expect to find in the main contract. In *Shepperd v Municipality of Ryde* (1952) 85 CLR 1, the plaintiff purchased a house from the defendant corporation, after reading a pamphlet issued by the defendant in which it described its housing program, including the laying of parks, and receiving an assurance that the areas designated as parks would be so laid. The contract of sale made no reference to the park areas. Dixon, McTiernan, Fullagar and Kitto JJ said (at 13):

> The reluctance of courts to hold that collateral warranties or promises are given or made in consideration of the making of a contract is traditional. But a chief reason for this is that too often the collateral warranty put forward is one that you would expect to find its place naturally in the principal contract. In a case like the present it is, we think, otherwise. Doubtless the main contract might have included a clause by which the council undertook not to depart from the housing scheme. But it seems to be not unnatural that the parties

> should treat the contract as devoted to the purchase of the lot which the individual purchaser acquired, the existence and stability of the project of which the transaction was an outcome being presupposed as something antecedent upon which the purchaser might implicitly rely. It is the common intention that he would so rely upon it and on that basis proceed to contract to buy the particular lot allocated to him. It is because of this that the assurance which is embodied in the plan, when it is read in the light of the pamphlet, obtains its effect as a collateral promise.

For a statement to give rise to a collateral contract, the statement must be made as a promise and must be intended to induce entry into the contract: *JJ Savage & Sons Pty Ltd v Blakney* (1970) 119 CLR 435, extracted at [12.195]. The statement must also be consistent with the terms of the main contract. The requirement of consistency is known as the rule in *Hoyt's Pty Ltd v Spencer* (1919) 27 CLR 133.

Hoyt's v Spencer

[12.155] *Hoyt's Pty Ltd v Spencer* (1919) 27 CLR 133 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: Spencer, the *defendant/respondent*, was the lessee of premises from the head lessors. By a registered memorandum of lease, the defendant leased to Hoyt's Pty Ltd, the *plaintiff/appellant*, the premises for a period of four years. The lease contained the following proviso: "Provided always that the said Cosens Spencer may at any time during the currency of the term hereby created terminate this lease by giving to the lessee at least four weeks notice in writing of his intention to do so." During the currency of the term, the defendant gave notice to determine the lease under this proviso and the plaintiff gave up possession of the premises. Subsequently, the plaintiff brought action against the defendant alleging that in consideration of its taking the lease, the defendant agreed that he would not during the currency of the term give notice to his intention to terminate the lease unless requested and required to do so by the head lessor.

On a demurrer, the Full Court of the Supreme Court of New South Wales (Ferguson J dissenting) gave judgment for the defendant. The plaintiff appealed.]

ISAACS J: [141] In this case it is essential to ascertain and keep steadily in view the cause of action alleged. The declaration is founded on an agreement consisting of a promise of the defendant upon a consideration given by the plaintiff. The consideration is either the promise of the plaintiff to take a lease or the actual taking of the lease. I think it immaterial, but if material it must, I think, be the actual taking of the lease because there could not possibly be any effect given to the promise or any breach of it except after the lease was actually taken. In any case the same result ensues.

Now, the consideration is stated to be that the plaintiff would take a lease and become lessee for the term mentioned "upon certain terms" … The declaration avers that the plaintiff took a lease "upon the said terms", [142] and says "yet" the defendant broke his promise. In other words, it avers that the defendant, being entitled to the consideration agreed upon, received that consideration, and yet broke his promise. There is no denial — in fact it is conceded as the very groundwork of the action, as indeed it must be — that the defendant is entitled to have to the full every part of the consideration mentioned, which by the admission on demurrer includes the terms of the proviso, undiminished, unaltered, and unqualified, by anything which took place up to the time of the making of the lease. Putting the argument in the best form for the appellant, it amounts to this: the respondent Spencer was to have the unqualified right as a matter of *property* to resume possession whenever he chose to exercise his power in terms of the proviso, but he was under a *personal* contractual obligation, by virtue of the collateral promise, not to exercise his property right except in accordance with the collateral promise. The answer to that, however, is that the argument rests on a fallacy. A lease is a contract …

[143] The parties here are bound by the terms of the bargain personally, as well as in point of interest in the property; and the terms of the contract regulate and define their respective rights with

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reference to the property. The promise relied on is itself an open variation or qualification of the right conferred by the proviso in the lease; and it is an undeniable fact that by just so much the rights of the respondent are less than the agreed consideration for the promise. Nevertheless, the appellant insists that the promise must be strictly adhered to, and that the respondent, by exercising the power that incontestably exists under the unqualified proviso, has committed an actionable breach of agreement. The mere statement of the matter seems to me to answer the contention. But as the argument has occupied the attention of two courts and concerns a topic of the law — collateral agreements — which touches every phase of contract — mercantile and otherwise — I think it desirable to state the way in which I view it.

When two parties are entering into contractual relations with respect to a given subject matter, they may (apart from special technical requirements) elect to conclude their bargain without writing, or they may elect to record it in writing, and, if in writing, they may further decide to have it under seal. But in whatever form they determine to leave their bargain, they may further agree to have one contract only, or to have separate and distinct contracts. All that is for the parties themselves to resolve upon. If they determine to make one contract only, then the terms they decide to include are the only terms that affect them contractually. It connotes that all else is abandoned. And that is the case whatever the form of the contract. If the matter is not committed to writing, though the principle is clear, the evidence is manifestly open to great dispute. But if the parties agree to commit their agreement to writing, then what is written is the conclusive record of the terms of their agreement, and, unless it can be shown that the document was not intended as the complete record of their bargain, no oral evidence can be admitted to alter or qualify it. I have [144] stated my views on this point in *Gordon v Macgregor* (1909) 8 CLR 316 at 322 et seq, citing authorities. This principle applies even to the case where the agreement is partly written and partly verbal. To the extent to which the parties have deliberately agreed to record any part of their contract, that record stands unimpeachable by oral testimony. It may be that the parties have, in their discretion, chosen to record a single bargain in several documents contemporaneously, or so close in point of time that they are treated as being contemporaneously executed. In that case, as Jessel MR says in *Re Wedgwood Coal and Iron Co; Anderson's* case (1877) 7 Ch D 75 at 99, ambiguities and even inconsistencies have to be resolved and reconciled as best the court can … In such case, if there be an action on the whole agreement as one entire indivisible agreement, the whole of the documents are read together, and the words of one may have to be modified by the words of another. And if in this case the plaintiff were suing on one entire indivisible contract into the composition of which both the proviso in the lease and the promise alleged in the declaration entered, the plaintiff's position would be that the agreement would have to be treated very much as postulated by Sir George Jessel in *Anderson's* case (at 99).

But the plaintiff is not suing upon such an entire indivisible contract. The contract contained in the lease is one under the *Real Property Act 1900* (NSW), and by virtue of s 36 of that Act has the force of a deed. It could not be contended that the promise sued on (assuming, as perhaps by the rules of pleading we may be bound to assume, it was in writing though not under seal and not registered) was intended to be part of the one contract along with the proviso. If such were the appellant's contention the remedy would have been a suit for rectification or injunction at the proper time. At all events this is not the claim in the declaration. The claim is on the basis that there was no mistake in framing the main contract of lease, that that contract is complete in itself and correctly recorded, and that its only function [145] now is as the sole consideration for the independent collateral agreement sued on.

Ferguson J truly says that no question arises here as to admissibility of evidence, such as parol evidence to affect a written document, or evidence of any kind to affect a deed, or evidence proper to found a claim for rectification of the lease, or in any other way. All the observations in the authorities as to parol evidence are beside the question, because it is to be assumed that the "agreement" as pleaded is established in fact. The only question on this demurrer is as to its legal effect; and up to this point I entirely agree with the view taken by Ferguson J. At one point I diverge; and that is, what is the legal force and effect to be given to the promise pleaded, having regard to the consideration

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on which it is alleged to be based, namely, the making of the lease with all the terms it contains? The contract contained in the lease is, as observed, complete in itself. It contains the mutual covenants and considerations of the parties, and it stands entirely on its own footing. A transferee would take it upon the very terms of the document and upon no others. And in that document the plaintiff says: "I Hoyt's Proprietary Limited the within named lessee do hereby accept this lease as tenant subject to the conditions restrictions and covenants above set forth." But, though complete in itself as a contract, it might well play another part as consideration for another promise. In *Heilbut Symons & Co v Buckleton* [1913] AC 30 at 47, Lord Moulton states the law in distinct terms. He says:

> It is evident, both on principle and on authority, that there may be a contract the consideration for which is the making of some other contract. "If you will make such and such a contract I will give you £100", is in every sense of the word a complete legal contract. It is collateral to the main contract, but each has an independent existence, and they do not differ in respect of their possessing to the full the character and status of a contract.

Now that passage was read and relied on by Mr Campbell. But though it supports him in principle, yet the same principle destroys his case. The main contract here, when utilised to form the consideration for the collateral contract, must be taken exactly as it is. Its provisions do not change according as it is considered as an independent contract or as a consideration [146] for the collateral contract. A principle that must govern the bargain of a contractual promise made in consideration of entering into the main contract is that the parties shall have and be subject to *all* (not some only) of the respective benefits and burdens of the main contract. When the collateral promise is truly consistent with the main contract, that principle has full play. The main contract is not then interfered with. The collateral contract alters, as every contract must, the contractual relations of the parties; but it does not alter, and from the simple statement of the bargain is not intended to alter, the contractual relations which are established by the main contract. When both are worked out, it may be that in the final outcome the parties are in the same position as if those contractual relations had been varied. But the practical result cannot affect the independence and legal effect of each contract; and that is what we are here concerned with …

[147] The truth is that a collateral contract, which may be either antecedent or contemporaneous, being supplementary only to the main contract, cannot impinge on it, or alter its provisions or the *rights created by it*; consequently, where the main contract is relied on as the consideration in whole or part for the promise contained in the collateral contract, it is a wholly inconsistent and impossible contention that the other party is not to have the full benefit of the main contract as made; and the [148] appellant's first contention is therefore unsound. If in any case the court finds two enforceable agreements executed in such circumstances that one is intended to affect the other, no doubt such effect will be given to them as the superimposing operation of the governing contract requires; but in that case it is not collateral, but dominant …

It only remains to consider whether the alleged promise does leave the contractual rights of the respondent under the main contract unimpaired. Ex concessis, it does not. The very argument on which the claim is founded is that but for the additional promise the respondent had the power by virtue of the proviso to do what he did. And the plaintiff's case is that that power was cut down by the further promise. There is at once a conflict between the two, with the result that the appellant, though in one breath conceding the full extent of the proviso as a consideration, yet, in the next, cuts it down almost to the point of rendering it nugatory.

In my opinion the judgment should be affirmed, and this appeal dismissed.

[KNOX CJ delivered a judgment to a similar effect and RICH J concurred.]

Appeal dismissed.

[12.160] FERGUSON J [dissenting in the Full Court of the Supreme Court of New South Wales (1919) 19 SR (NSW) 200]: [212] One difficulty that presents itself to my mind is this. If effect is to be given

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to the contention that the law will not countenance the proof of an inconsistent collateral agreement, then in a case such as the present where each of the conflicting agreements is the consideration or part of the consideration for the other, how is it to be determined which of the two comes under the ban of the law?

It was argued with so force, that in a sense there is no inconsistency between the two provisions in question in this case. The agreement limiting the right to give the notice might have been included in the lease as a proviso to the covenant relating to the notice without giving rise to the slightest incongruity or difficulty in interpretation. In the circumstances it may have been and probably was a very reasonable condition to impose. However, that is not the ground upon which I wish to base my judgment. It is a question not of reasonableness or unreasonableness, but of the right of parties to make any agreement they choose, provided that it does not contravene some law. If by agreement they give themselves certain [213] reciprocal rights, I cannot see why if they choose to do so they should not by another agreement modify those rights, whether the modifying agreement is earlier in date, or later, or contemporaneous. The function of the court is not to dictate to parties what agreement they should make, but to ascertain whether they have made an agreement, and then to interpret it.

Now is there a valid agreement here? If I promise you that in consideration of your signing a document marked "A" I will do or abstain from doing some specified thing, and you do sign that document, have I or have I not succeeded in binding myself to do or abstain from doing that thing? I think I have. Assuming that no question of illegality arises, I am quite unable to see that any element of a complete contract is lacking. But the defendant's case is that the question is one that cannot yet be answered — that the answer must be postponed until document "A" has been examined to see whether it contains anything inconsistent with the terms of my promise.

I cannot bring myself to accept this view; to my mind it involves a radical revision of the accepted definition of a contract. For these reasons I am of opinion that the declaration states a good cause of action, to which the plea supplies no answer, and that our judgment should be for the plaintiff company.

[12.163] **Note**

For modern applications of the rule see for example: *Mainieri v Cirillo* [2014] VSCA 227; (2014) 47 VR 127; *Crown Melbourne Ltd v Cosmopolitan Hotel (Vic) Pty Ltd* [2016] HCA 26; (2016) 260 CLR 1.

Estoppel

[12.165] Courts remain divided as to whether the parol evidence rule precludes the admission of extrinsic evidence for the purpose of establishing an estoppel. The different views are expressed in the following extracts.

Saleh v Romanous

[12.170] *Saleh v Romanous* [2010] NSWCA 274 (Supreme Court of New South Wales Court of Appeal) – Appeal from the Supreme Court of New South Wales.

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[FACTS: The appellants/vendors owned land at 163 Kissing Point Road, Dundas. The neighbouring property at 165 Kissing Point Road was owed by Edmond, the brother of the first appellant. The two brothers obtained development approval for the construction of eight townhouses on the combined site. The respondents/purchasers entered into a contract to purchase the land at 163 Kissing Point Road from the appellants/vendors and paid them a deposit. The purchasers entered into the contract of sale on the assumption, induced by the vendors, that Edmond would participate in a joint venture with the purchasers to develop the two properties. Although the purchasers had not met Edmond before the contract of sale was made, the proposed joint venture with him "provided the genesis and rationale" for the contract of sale. The trial judge found that, before the contract of sale was made, the first appellant said to the first respondent: "Leave Eddie up to me. I'm taking responsibility for Eddie. If Eddie doesn't want to build you don't have to buy and you'll get your money back." The purchasers were unable to negotiate a joint venture with Edmond so they purported to terminate the contract of sale and instituted these proceedings to recover the deposit. The trial judge held that a promissory estoppel arose against the vendors which prevented them from enforcing the contract of sale. He ordered the vendors to repay the deposit. The vendors appealed to the Court of Appeal.]

HANDLEY AJA: [23] The vendors … submitted that the parol evidence rule and cl 10.1.5 of the contract, an "entire agreement" clause, excluded any pre-contractual promissory estoppel. …

[52] Mr Rayment QC for the vendors relied on *Johnson Mathey Ltd v AC Rochester Overseas Corp* (1990) 23 NSWLR 190 and *Australian Co-operative Foods Ltd v Norco Co-operative Ltd* [1999] NSWSC 274; (1999) 46 NSWLR 267 for the proposition that the parol evidence and entire contract rules prevented extrinsic evidence being received to establish a pre-contractual estoppel by convention. He submitted that a pre-contractual promissory estoppel was also excluded.

[53] Estoppel by convention is a common law doctrine (*MK & JA Roche Pty Ltd v Metro Edgley Pty Ltd* [2005] NSWCA 39 at [71]-[72]). It emerged in England during the 19th century as courts of common law extended the principles governing estoppels by deed to other contracts. It was referred to by Latham CJ and Dixon J in *Grundt v Great Boulder Pty Gold Mines Ltd* [1937] HCA 58; 59 CLR 641, 657, 677, and was recognised as a separate head of estoppel in *Amalgamated Investment & Property Co Ltd v Texas Commerce International Bank Ltd* [1982] QB 84 CA, 121. It has been applied in many cases since. The history is traced in Handley *Estoppel by Conduct and Election* 2006 at pp 116-118.

[54] Promissory estoppel is an equitable doctrine recognised in *Hughes v Metropolitan Railway Co* (1877) 2 App Cas 439, 447 (*Hughes*). The House of Lords affirmed the decision of the Court of Appeal (1876) 1 CPD 120, 133 where James LJ said:

> This case must be treated in the same way as if a bill in equity had been filed for relief against the forfeiture after a judgment had been obtained at law.

[55] The equitable basis of the doctrine was again recognised in *Birmingham & District Land Co v London & North Western Railway Co* (1888) 40 ChD 268 CA, 277, 281, 285-7 (*Birmingham Land*). Like other doctrines developed by the Court of Chancery it imposes equitable restraints on the enforcement of contractual and other rights. The leading promissory estoppel cases before 1973 were based on post-contractual conduct where the parol evidence and entire contract rules did not apply.

[56] There are other equitable restraints on the enforcement of contractual rights based on pre-contractual conduct. They include the equitable remedies for common law and equitable fraud, for innocent misrepresentation and mistake, and some restraints on the enforcement of common law rights by injunction or specific performance: eg *Martin v Pycroft* (1852) 2 DeGM & G 785, 795 [42 ER 1079, 1083].

[57] These remedies and defences trump the legal rules about parol evidence and entire contracts.

[58] Mr Rayment relied on *Hoyts Pty Ltd v Spencer* [1919] HCA 64; CLR 133 as authority for the proposition that an informal collateral contract, in consideration for entering into the principal contract, cannot be inconsistent with it. That case, followed in *Maybury v Atlantic Union Oil Co Ltd* [1953] HCA 89; 89 CLR 507, is clear authority for that proposition. The Judge held, correctly, that

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a collateral contract based on the pre-contractual promise would be inconsistent with the contract of sale.

[59] In *Hoyts'* case the alleged contract was collateral to a sub-lease which the sub-lessor could terminate at any time by giving four weeks notice. The sub-lessee alleged a collateral contract that the sub-lessor would not give a notice unless the head lessor gave a similar notice under the head lease. The sub-lessee's action for damages for terminating the sub-lease in other circumstances failed because the collateral contract was inconsistent with the sub-lease. Isaacs J said (ibid at 147):

> … a collateral contract, which may be either antecedent or contemporaneous …, being supplementary only to the main contract, cannot impinge on it, or alter its provisions or the rights created by it; consequently, where the main contract is relied on as the consideration … for the promise contained in the collateral contract, it is a wholly inconsistent and impossible contention that the other party is not to have the full benefit of the main contract as made ….

[60] The sub-lessee's action in the common law jurisdiction of the Supreme Court was based on its rights at law under the collateral contract. Isaacs J referred (ibid at 146-7) to *Carter v Salmon* (1880) 43 LT 490 CA, where an action for breach of a contract collateral to a lease also failed. He noted however that James LJ had said that the collateral agreement might have supported an injunction "in equity" and Cotton LJ "gave no opinion as to an equity" against the original landlord.

[61] Mr Rayment submitted that the collateral contract in *Hoyts'* case, like the promissory estoppel in the present case, was an attempt to restrict the exercise of rights under a written contract. He said that a collateral promise which could not be enforced as a contract could not be enforced as a promissory estoppel.

[62] I reject these submissions. A promissory estoppel is not enforced as a contract, but as an equitable restraint on the exercise or enforcement of the promisor's rights. *Hoyts'* case did not decide that the sub-lessee had no equity, and Isaacs J left that question open.

[63] The purchasers sought restitution, not damages, but their case, and their defence to the vendors' case, depended on their equity to restrain enforcement of the contract for sale. Enforcement of a pre-contractual promissory estoppel is not barred by *Hoyts'* case.

[64] In *Bank Negara Indonesia v Hoalim* [1973] 2 MLJ 3 (*Bank Negara*) the Privy Council held that a pre-contractual promise could support a promissory estoppel. The respondent, a protected tenant, was induced in 1958 to move to other offices in the same building by a promise that he would not be asked to leave while he continued to practise. In 1961 the parties entered into a 3 year lease and the respondent afterwards held over as a monthly tenant. In January 1969 he was given a notice to quit but a promissory estoppel based on the 1958 promise was enforced. Lord Wilberforce said at p 5:

> … it appears to their Lordships that the nature of this assurance and the circumstances in which it was given are such as to bring into play the doctrine of promissory estoppel as classically stated in two well known passages.

[65] He cited the speech of Lord Cairns LC in *Hughes* (1877) 2 App Cas 439, 448 and the judgment of Bowen LJ in *Birmingham Land* (1888) 40 ChD 268, 286 and continued:

> Their Lordships do not overlook the point that the rights, which the appellants had against the respondent, and whose enforcement is in question, were not strictly pre-existing rights, but rights coming into existence upon the change in the respondent's situation induced by the appellants' assurance, but in their Lordships' opinion the same equitable principle applies.

[66] The judgment of the Privy Council did not affect the rights of the parties at law. The respondent remained a monthly tenant, but the estoppel prevented the landlord giving a notice to quit. Thus a promissory estoppel dating from 1958 trumped the legal rights of the landlord after the fixed term expired in 1964.

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[67] In *City and Wesminster Properties (1934) Ltd v Mudd* [1959] Ch 129 Harman J upheld a collateral contract that the landlord would not enforce a user covenant against the original tenant. The decision is contrary to *Hoyts*' case and the English cases there followed and would now be supported on a promissory estoppel. Harman J would have decided the case on that basis but thought that promissory estoppel was confined to existing rights.

[68] *Bank Negara* was referred to with approval in *Waltons Stores (Interstate) Ltd v Maher* [1988] HCA 7, 164 CLR 387 by Mason CJ and Wilson J at 399, by Brennan J at 420, and by Gaudron J at 459, and was followed by McHugh JA in *State Rail Authority of New South Wales v Heath Outdoor Pty Ltd* (1986) 7 NSWLR 170, 193-195. These cases have added pre-contractual promissory estoppel to the grounds on which equity will protect one contracting party from inequitable conduct by the other. In all these cases the legal rights trumped by equity include those protected by the parol evidence and entire contract rules.

[69] This is supported by the dictum of Allsop J in *Branir Pty Ltd v Owston Nominees (No 2) Pty Ltd* [2001] FCA 1833, 117 FCR 424, at [446] that "it is difficult to see why another remedy in equity … arising out of pre-contractual communications should be defeated by a common law rule about the construction of documents". There are dicta to similar effect in *Wright v Hamilton Island Enterprises Ltd* [2003] QCA 36 at [13], [37]-[43], [55], [88], although the relief granted should have been negative in substance, restraining the owner from determining the agreements unless the licensees were in breach.

[70] There are further dicta in *Franklins Pty Ltd v Metcash Trading Ltd* [2009] NSWCA 407, 264 ALR 15. Allsop P said at [34] that "if the estoppel … is equitable … the common law parol evidence rule will not impede its proper operation", and Campbell JA said at [554] that "equity would not permit an entire agreement clause to stultify the operation of its doctrines".

[71] In *Equuscorp Pty Ltd v Glengallen Investments Pty Ltd* [2004] HCA 55; 218 CLR 471 at [35] the Court, in the joint judgment of Gleeson CJ, McHugh, Kirby, Hayne and Callinan JJ said:

> Where parties entered into a written agreement, the Court will generally hold them to the obligations which they have assumed by that agreement. At least, it will do so unless relief is afforded by the operation of statute or some other legal or equitable principle applicable to the case.

[72] The case is significant because, despite the parol evidence rule, the High Court remitted issues to the Queensland Court of Appeal which included the promissory estoppel pleaded by the borrowers. The judgment of Holmes J on the remitted issues: [2006] QCA 194 at [118]-[119] contains further dicta in support of the views expressed above.

[73] In my judgment the Judge correctly held that the purchasers had established a promissory estoppel which entitled them to restrain the vendors from enforcing the contract of sale. Such an estoppel is not the equitable equivalent of a contract, and cannot give the purchasers positive rights to rescind and recover their deposit that they would have had if the pre-contractual promise had contractual force. A pre-contractual promissory estoppel which conferred positive rights of that nature would be contrary to *Hoyts'* case.

[74] A promissory estoppel is a restraint on the enforcement of rights, and thus, unlike a proprietary estoppel, it must be negative in substance. In *Hughes* Lord Cairns LC in his classic statement of principle quoted by Lord Wilberforce in *Bank Negara* said:

> … the person who otherwise might have enforced those rights will not be allowed to enforce them where it would be inequitable having regard to the dealings which had thus taken place between the parties.

[75] In *Birmingham Land*, in the other passage quoted by Lord Wilberforce in *Bank Negara*, Bowen LJ said:

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… those persons would not be allowed by a Court of Equity to enforce the rights …

[76] The topic is considered in Handley *Estoppel by Conduct and Election* 2006 at pp 201-3, 214-225.

[77] The inherent limitations on the scope of promissory estoppel do not matter in this case because the purchasers can rely on the statutory remedy conferred by s 55(2A) of the *Conveyancing Act* to recover their deposit without the need to rescind the contract.

[78] This provides:

> In every case where the court refuses to grant specific performance of a contract, or in any proceedings for the return of a deposit, the court may, if it thinks fit, order the repayment of any deposit with or without interest thereon.

[79] The vendors did not seek specific performance and the first limb of subs (2A) does not apply, but the promissory estoppel would have been a defence to such proceedings once it became clear that there would be no joint venture with Edmond.

[80] The second limb is in general terms and confers a wide discretion which can be exercised where it is just and equitable to deprive the vendor of the deposit. The case law was reviewed in *Harkins v Butcher* [2002] NSWCA 237, 55 NSWLR 558, 571-574.

[81] The Judge held that the promissory estoppel entitled the purchasers to rescind and recover their deposit. In my judgment positive relief was not available on that ground but his decision that the promissory estoppel prevented the vendors enforcing the contract entitled the purchasers to an order under s 55(2A). The Judge's orders (red 84) can be affirmed without a formal order under the section.

[82] In my judgment therefore the appeal fails. The purchasers sought to support the judgment on alternative grounds raised in their notice of contention. These were rightly dismissed by the Judge and may be disposed of without elaboration.

[83] The claim based on an oral collateral contract was rightly rejected in accordance with *Hoyts'* case. The claims in fraud as pleaded failed on the facts, and other possible claims in fraud were not pleaded. The claim under s 45 of the *Fair Trading Act* could not fall within the section. The claim that the contract had been abandoned also failed on the facts.

[GILES JA and SACKVILLE AJA agreed.]

Appeal dismissed.

Australian Co-operative Foods v Norco Co-operative

[12.175] *Australian Co-operative Foods Ltd v Norco Co-operative Ltd* [1999] NSWSC 274; (1999) 46 NSWLR 267 (New South Wales Supreme Court).

BRYSON J: Even if there were a factual basis for an estoppel, whether viewed as an estoppel by convention or a promissory estoppel relating to the manner in which rights under cl 8.4 would be exercised, the estoppel could not be enforced because the new licence agreement is as its terms show intended to be a comprehensive written expression of the parties' agreement, so that its provisions cannot be qualified by evidence of the terms of the parties' negotiations. The estoppels here contended for would be inconsistent with the express terms of cl 8.4 in that they would qualify the power which it confers, and they would be directly contrary to the terms of cl 22 [an entire agreement clause].

In these respects I follow the views of McLelland J in *Johnson Matthey Ltd v AC Rochester Overseas Corporation* (1990) 23 NSWLR 190. I regard McLelland's views as well founded on the principle of

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giving effect to the formal, final and considered expression of the parties' contractual intention; the fact that they chose writing to express that intention shows the relative weight they attributed to earlier arrangements and understandings. The view expressed by McHugh JA (dissenting) in *State Rail Authority (NSW) v Heath Outdoor Pty Ltd* (1986) 7 NSWLR 170 and acted on by Rolfe J in *Whittet v State Bank of New South Wales* (1991) 24 NSWLR 146 does not, in my respectful opinion, accord appropriate weight to indications of finality and completeness which the parties give when they adopt formal written expression. The judgment of McLelland J was followed by Miles CJ in *Skywest Aviation Pty Ltd v Commonwealth* (1995) 126 FLR 61: see at 102–6. I respectfully differ from the view of Rolfe J in Whittet and follow the views expressed by McLelland J in *Johnson Matthey*. I regard McLelland J's view as well founded in principle and I do not regard the decision of the Court of Appeal in *State Rail Authority (NSW) v Heath Outdoor Pty Ltd* as having established the views expressed by McHugh JA (at 193). My adherence to this view has been reinforced with the passage of time and accumulation of experience of this and many other forensic endeavours to set up estoppels out of the circumstances or terms of pre-contractual exchanges; the evidence offered is often extensive, discursive and inconclusive and, where it is of any value at all, clearly of less value than the considered written expression. Poorly based and incompletely considered forensic attempts to set up pre-contractual estoppels are unfortunately common, and in most cases they are quite unuseful and very wasteful of resources.

[12.180] **Note**

In *Branir Pty Ltd v Owston Nominees* [2001] FCA 1833; (2001) 117 FCR 424, 543–4 [444]–[447], Allsop J (with whom Drummond and Mansfield JJ agreed) after expressly declining to decide the issue, stated:

> However, in my view, there appears, if I may say so respectfully, to be great force in the views of McHugh JA in his rejection of the exclusion of a role for estoppel (at least in equity) where the detriment founding the estoppel is, in effect, the entry into an agreement which in turn negates, by its terms, the representation or conduct which was sufficiently clear to found an estoppel and reliance upon which led to the agreement being entered.

WHEN IS A STATEMENT A TERM OF A CONTRACT?

[12.185] For an oral statement to be binding as a term of the parties' contract, the statement must have been made as a promise and intended by the parties to be part of their contractual agreement. Intention is judged objectively. The court will assess whether or not the statement would reasonably be considered a binding contractual promise by a person placed in the situation of the parties.

In assessing the status of an oral statement, courts will consider a number of potentially relevant factors. These include the significance of a written contract, language used, the relevant expertise of the parties, the importance of the statement, the timing of the statement and the form of the written contract. The following cases illustrate the significance, which may (or may not) be given to these various factors.

Equuscorp v Glengallan Investments

[12.190] *Equuscorp Pty Ltd v Glengallan Investments Pty Ltd* [2004] HCA 55; (2004) 218 CLR 271.

[FACTS: A group of investors subscribed for units in limited liability partnerships formed to develop and operate an aquaculture farm in Queensland. At the same time, the investors entered into written loan agreements with a lender related to the promoter to borrow the subscription moneys and pay the interest in advance. The investors claimed in respect of that financial year a tax deduction for the interest, management fees, rent and licence fees paid, resulting in a minimum deduction of $5,061 for a cash outlay of $781. The project failed and the investors defaulted on the loans. The lender assigned the loan debts, and the assignee sought to enforce the written loan agreements. The investors asserted that earlier oral loan agreements between themselves and the lender limited recourse to the prepaid interest and two capital repayments.]

GLEESON CJ, MCHUGH, KIRBY, HAYNE and CALLINAN JJ:

[482] *Written agreements or oral?*

Debate in the courts below, about whether the loan agreements were wholly oral, as the respondents alleged, or wholly written, as Equuscorp and Rural Finance contended, proceeded upon the premise that the critical question was whether the primary judge should have acted on his acceptance of oral evidence given on the respondents' behalf of some conversations that were said to have occurred before the written loan agreements were signed. That, in turn, was seen as a question to be decided by reference to whether subsequent events (including those we have mentioned) made it more or less probable that during these conversations some consensus was reached that the loans were "limited recourse". But behind these arguments lies a more fundamental issue which the respondents' contentions did not address, whether in the courts below or on appeal to this Court.

It is, and always has been, common ground that each of the respondents executed a written loan agreement on 30 June 1989. The respondents alleged that the "operative agreement" was not contained in that writing. It was said that the relevant agreement was reached earlier and was wholly oral. Yet it was *not* said that the written agreement should be rectified. It was *not* said that a defence of non est factum was available. It was *not* said that the written agreement was executed by mistake, or that its execution was procured by misrepresentation as to its contents or effect. (The misrepresentation [483] alleged was as to what had been said in the conversations, not what the document was or provided.)

The respondents each having executed a loan agreement, each is bound by it. Having executed the document, and not having been induced to do so by fraud, mistake, or misrepresentation, the respondents cannot now be heard to say that they are not bound by the agreement recorded in it (*L'Estrange v F Graucob Ltd* [1934] 2 KB 394). The parol evidence rule (*Hoyt's Pty Ltd v Spencer* (1919) 27 CLR 133), the limited operation of the defence of non est factum (*Petelin v Cullen* (1975) 132 CLR 355) and the development of the equitable remedy of rectification (*Taylor v Johnson* (1983) 151 CLR 422), all proceed from the premise that a party executing a written agreement is bound by it. Yet fundamental to the respondents' case that the operative agreements between the parties were wholly oral, and reached earlier than the execution of the written agreements, was the proposition that the written agreements subsequently executed not only *may* be ignored, they *must* be. That is not so. Having executed the agreement, each respondent is bound by it unless able to rely on a defence of non est factum, or able to have it rectified. The respondents attempted neither.

There are reasons why the law adopts this position. First, it accords with the "general test of objectivity [that] is of pervasive influence in the law of contract" (*Australian Broadcasting Corporation v XIVth Commonwealth Games Ltd* (1988) 18 NSWLR 540 at 549, per Gleeson CJ). The legal rights and obligations of the parties turn upon what their words and conduct would be reasonably understood to convey, not upon actual beliefs or intentions (*Gissing v Gissing* [1971] AC 886 at 906, per Lord Diplock; *Ashington Piggeries Ltd v Christopher Hill Ltd* [1972] AC 441 at 502, per Lord Diplock).

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Secondly, in the nature of things, oral agreements will sometimes be disputable. Resolving such disputation is commonly difficult, time- consuming, expensive and problematic. Where parties enter into a written agreement, the Court will generally hold them to the obligations which they have assumed by that agreement. At least, it will do so unless relief is afforded by the operation of statute or some other legal or equitable principle applicable to the case. Different questions may arise where the execution of the written agreement is contested; but that is not the case here. In a time of growing international trade with parties in legal systems having the same or even stronger deference to the obligations of written agreements (and frequently communicating in different languages and from the standpoint of different cultures) this is not a time to ignore the rules of the common law upholding obligations undertaken in written agreements. It is a time to maintain those rules. They are not unbending. They allow for exceptions. But the exceptions must be [484] proved according to established categories. The obligations of written agreements between parties cannot simply be ignored or brushed aside. The conclusion that the respondents are bound by the written loan agreements may leave open the possibility that an earlier consensus reached by the parties was in each case a collateral agreement (made in consideration of the parties later executing the written agreement (*Hoyt's Pty Ltd v Spencer* (1919) 27 CLR 133; *De Lassalle v Guildford* [1901] 2 KB 215)), but that has never been the respondents' case. In another case it may leave open the possibility that the contract is partly oral and partly in writing (*Maybury v Atlantic Union Oil Co Ltd* (1953) 89 CLR 507 at 517). But that cannot be so here. The oral limited recourse terms alleged by the respondents contradict the terms of the written loan agreement. If there was an earlier, oral, consensus, it was discharged and the parties' agreement recorded in the writing they executed (*Gordon v Macgregor* (1909) 8 CLR 316 at 322-323; *Masters v Cameron* (1954) 91 CLR 353 at 360-361). It is the written loan agreement which governed the relationship between Rural Finance and each respondent. It is as well to add, however, that it may be doubted that the evidence at trial revealed that the parties reached any consensus about the loan being a "limited recourse" loan that would be sufficiently certain to admit of enforcement. For the reasons given earlier, it is not necessary to reach this point in order to decide this aspect of the case. It is enough to say that the oral evidence given by certain witnesses, which the primary judge accepted as true, was evidence which, when examined in transcript, appears to have been far less than definite about who agreed what, with whom.

JJ Savage & Sons v Blakney

[12.195] *JJ Savage & Sons Pty Ltd v Blakney* (1970) 119 CLR 435 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: Blakney, the *respondent*, contemplated buying a motor boat from JJ Savage & Sons Pty Ltd, the *appellant*, which made and dealt in motor boats. In the course of negotiations concerning the construction of a boat, the respondent asked the appellant's manager to place in writing his views upon various engines that might be used in the boat. The appellant set out in a letter details of the fuel consumption, power output, "estimated speed" and comparative costs of three types of engines. In the letter, the appellant made recommendations in favour of one engine, of which the "estimated speed" was stated to be 15 miles per hour. The respondent replied that he preferred the appellant's advice to the advice of another expert who favoured one of the other engines mentioned in the appellant's letter. He then placed a formal order for a boat. A contractual document was executed. In this contract, there was no reference to the capacity of the boat to attain any particular speed. The boat supplied was not capable of moving faster than 12 miles per hour.

The respondent sued the appellant for breach of warranty, alleging that the representation of the estimated speed of the boat was a condition or warranty of the contract, or that it was a collateral warranty to the contract for the construction and sale of the boat. The trial judge held that the

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representation was neither a term of the contract nor a collateral warranty. The Full Court of the Supreme Court reversed the decision and held that the representation was a collateral warranty by the appellant that the boat would attain an approximate speed of 15 miles per hour. The appellant appealed to the High Court.]

BARWICK CJ, KITTO, MENZIES, OWEN and WALSH JJ: [441] The facts, as found by the learned trial judge, to which the Full Court referred were, that the appellant had persuaded the respondent to abandon the idea of Twin Clae diesels for one GM diesel; that the appellant had stated that from computations made it was assumed that the boat powered with the 4/53 GM diesel would have an estimated speed of fifteen mph; that the respondent was induced to order the boat with the single diesel engine on the faith of what the appellant had informed him both orally and by letter; that the attainable speed of the boat was an important matter both in the boat building and selling industry and to the respondent. The Court thought that by this material the respondent had established a collateral warranty as to the attainable speed of the boat.

The trial judge was of opinion that the statement in the appellant's letter was an estimate only, expressed as an expectancy, and not an unequivocal promise of a future speed. The Full Court, after referring to a dictionary meaning of the word "estimate", thought the expression "estimated speed 15 mph" in the appellant's [442] letter should be construed as "approximate speed 15 mph". In our opinion, this was an unwarranted substitution which stripped the words of the letter of their most significant meaning. The actual words used by the appellant in the letter should be considered. So far from being a promissory expression, "estimated speed 15 mph" indicates, in our opinion, an expression of opinion as the result "of approximate calculation based on probability" to use the dictionary equivalent of "estimate" referred to by the Full Court. There is no need to resort to cases decided upon different facts and circumstances in order to determine the significance in this case of the actual words used by the respondent. The words in themselves tend, in our opinion, against the inference of a promise that the boat would in fact achieve the nominated speed.

The Full Court seems to have thought it sufficient in order to establish a collateral warranty that without the statement as to the estimated speed the contract of purchase would never have been made. But that circumstance is, in our opinion, in itself insufficient to support the conclusion that a warranty was given. So much can be said of an innocent representation inducing a contract. The question is whether there was a promise by the appellant that the boat would in fact attain the stated speed if powered by the stipulated engine, the entry into the contract to purchase the boat providing the consideration to make the promise effective. The expression in *De Lassalle v Guildford* [1901] 2 KB 215, at p 222 that without the statement the contract in that case would not have been made does not, in our opinion, provide an alternative and independent ground on which a collateral warranty can be established. Such a fact is but a step in some circumstances towards the only conclusion which will support a collateral warranty, namely, that the statement so relied on was promissory and not merely representational.

When the letter which we have quoted was written, the negotiations for the construction and delivery of the boat were incomplete. On receipt of the letter there were three courses open to the respondent. He could have required the attainment of the speed to be inserted in the specification as a condition of the contract; or he could have sought from the appellant a promise — however expressed, whether as an assurance, guarantee, promise or otherwise — that the boat would attain the speed as a prerequisite to his ordering the boat; or he could be content to form his own judgment as to the suitable power unit for the boat relying upon the opinion of the appellant of whose reputation and experience in the [443] relevant field he had, as the trial judge found, a high regard. Only the second course would give rise to a collateral warranty.

In our opinion, there is nothing in the evidence before the trial judge to support the view that the respondent took either the first or second of these courses: the only conclusion open upon that evidence was that the respondent took the third course; he accepted the appellant's estimate of what the boat would do under the power of the 4/53 GM diesel as sufficient to found his (the respondent's)

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own judgment as to the powering of the vessel. As he said "I prefer upon your advice the GM 4/53". That the statement actually made by the appellant was intended to have some commercial significance upon a matter of importance to the respondent can be conceded; that the respondent was intended to act upon it, and that he did act upon it, is clearly made out. But those facts do not warrant the conclusion that the statement was itself promissory.

In our opinion, so far from it being shown that the trial judge was wrong in refusing to draw the conclusion that the appellant made a promissory statement as to the attainable speed of the cruiser (which he did by deciding that there was no condition of the contract in the stated terms) we are satisfied that he took the only course permitted by the material before him. In our opinion, the appeal should be allowed.

Appeal allowed.

Oscar Chess v Williams

[12.200] *Oscar Chess Ltd v Williams* [1957] 1 WLR 370 (Court of Appeal) – Appeal from County Court.

[FACTS: The *defendant seller's* mother purchased a car in 1954, believing it to be a 1948 model. In fact it was a 1939 model, the appearance of the particular type of car not having changed over that period. The registration book, which presumably had been fraudulently altered, showed that the car had been first registered in 1948. The defendant offered the car as part payment for a new car which he wished to purchase from Oscar Chess Ltd, the *plaintiffs*. He described the car as a 1948, 10 horsepower Morris and produced the registration book. The plaintiffs allowed £290 against the price of the new car. Ten months later, they discovered that it was a 1939 model on which they would have allowed only £175. They claimed the difference of £115 from the defendant, alleging that it was an express term of the contract that the car was a 1948 model and that the term was a condition or in the alternative a warranty and that in the events which had happened they were entitled to damages for breach of warranty. The trial judge found that the alleged term was a condition and that the plaintiffs would have rescinded the contract if they had known the true facts before the property in the car passed. The defendant appealed.]

DENNING LJ [stated the facts set out above, and continued]: [373] I entirely agree with the judge that both parties assumed that the Morris was a 1948 model and that this assumption was fundamental to the contract. But this does not prove that the representation was a term of the contract. The assumption was based by both of them on the date given in the registration book as the date of first registration. They both believed it was a 1948 model whereas it was only a 1939 one. They were both mistaken and their mistake was of fundamental importance.

The effect of such a mistake is this: It does not make the contract a nullity from the beginning, but it does in some circumstances enable the contract to be set aside in equity. If the buyer had come promptly, he might have succeeded in getting the whole transaction set aside in equity on the ground of this [374] mistake (see *Solle v Butcher* [1950] 1 KB 671) but he did not do so and it is now too late for him to do it: see *Leaf v International Galleries* [1950] 2 KB 86. His only remedy is in damages, and to recover these he must prove a warranty. In saying that he must prove a warranty, I use the word "warranty" in its ordinary English meaning to denote a binding promise. Everyone knows what a man means when he says "I guarantee it" or "I warrant it" or "I give you my word on it." He means that he binds himself to it. That is the meaning it has borne in English law for 300 years … During the last 50 years, however, some lawyers have come to use the word "warranty" in another sense. They use it to denote a subsidiary term in a contract as distinct from a vital term which they call a "condition". In so doing they depart from the ordinary meaning, not only of the word "warranty" but also of the word "condition". There is no harm in their doing this, so long as they confine this technical use to its

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proper sphere, namely to distinguish between a vital term, the breach of which gives the right to treat the contract as at an end, and a subsidiary term which does not. But the trouble comes when one person uses the word "warranty" in its ordinary meaning and another uses it in its technical meaning. When Holt CJ in *Crosse v Gardner* (1689) Carth 90; 90 ER 656 … made his famous ruling that an affirmation at the time of a sale is a warranty, provided it appears on evidence to be so intended, he used the word "warranty" in its ordinary English meaning of a binding promise … These different uses of the word seem to have been the source of confusion in the present case. The judge did not ask himself: "Was the representation (that it was a 1948 Morris) intended to be a warranty?" He asked himself: "Was it fundamental to the contract?" He answered it by saying that it was fundamental; and therefore it was a condition and not a warranty. By concentrating on whether it was fundamental, he seems to me to have missed the crucial point in the case which is whether it was a term of the contract at all. The crucial question is: was it a binding promise or only an innocent misrepresentation? The technical distinction between a "condition" and a "warranty" is quite immaterial in this case, because it is far too late for the buyer to reject the car. He can at best only claim damages. The material distinction here is between a statement which is a term of the contract and a statement which is only an innocent misrepresentation. This distinction is best expressed by the [375] ruling of Lord Holt: was it intended as a warranty or not? using the word "warranty" there in its ordinary English meaning: because it gives the exact shade of meaning that is required. It is something to which a man must be taken to bind himself.

In applying Lord Holt's test, however, some misunderstanding has arisen by the use of the word "intended". It is sometimes supposed that the tribunal must look into the minds of the parties to see what they themselves intended. That is a mistake. Lord Moulton made it quite clear that "The intention of the parties can only be deduced from the totality of the evidence." The question whether a warranty was intended depends on the conduct of the parties, on their words and behaviour, rather than on their thoughts. If an intelligent bystander would reasonably infer that a warranty was intended, that will suffice. And this, when the facts are not in dispute, is a question of law …

[M]uch depends on the precise words that were used. If the seller says "I believe it is a 1948 Morris. Here is the registration book to prove it," there is clearly no warranty. It is a statement of belief, not a contractual promise. But if the seller says, "I guarantee that it is a 1948 Morris. This is borne out by the registration book, but you need not rely solely on that. I give you my own guarantee that it is," there is clearly a warranty. The seller is making himself contractually responsible, even though the registration book is wrong … [376] I ask myself: What is the proper inference from the known facts? It must have been obvious to both that the seller had himself no personal knowledge of the year when the car was made. He only became owner after a great number of changes. He must have been relying on the registration book. It is unlikely that such a person would warrant the year of manufacture. The most he would do would be to state his belief, and then produce the registration book in verification of it. In these circumstances the intelligent bystander would, I suggest, say that the seller did not intend to bind himself so as to warrant that it was a 1948 model. If the seller was asked to pledge himself to it, he would at once have said: "I cannot do that, I have only the log-book to go by, the same as you." …

[HODSON LJ gave judgment to a similar effect.]

[12.205] MORRIS LJ [dissenting, held that the statement was a term of the contract. He continued]: [383] In the present case there was a statement made at the time of the transaction; there was no written contract; and in so far as there was a document brought into existence, the document consisted of an invoice addressed to the defendant which recorded the complete transaction and which expressly described the car for which an allowance of £290 was being made as a "1948 Morris 10 Saloon". The statement made which described the Morris car was therefore an integral part of the contract. It was, I consider, a condition of the contract, on which the plaintiffs contracted …

In the present case on a consideration of the evidence that he heard, the judge came to the conclusion that the statement which [384] he held to have been made by the defendant at the time of the making of the contract was a statement made contractually. It seems to me that the totality of

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the evidence points to that view. The statement related to a vitally important matter: it described the subject matter of the contract then being made and the statement directed the parties to, and was the basis of, their agreement as to the price to be paid or credited to the defendant …

Appeal allowed.

Dick Bentley Productions v Harold Smith (Motors)

[12.210] *Dick Bentley Productions v Harold Smith (Motors) Ltd* [1965] 2 All ER 65 (Court of Appeal) – On Appeal from the Westminster County Court.

[FACTS: Dick Bentley purchased a second hand Bentley car from Smith (a car dealer). Before Bentley purchased the car, Smith told him that the car had done only 20,000 miles since being fitted with a replacement engine and gearbox. Earlier, Bentley had told Smith that he (*Bentley*) was looking for a "well vetted Bentley car" and Smith had told Bentley that he (*Smith*) was "in a position to find out the history of cars". The statement about mileage was untrue. Bentley sought damages for breach of warranty and succeeded at first instance. Smith appealed.]

LORD DENNING MR: [67] I endeavoured to explain in *Oscar Chess v Williams* [1957] 1 All ER 325, at pp 328, 329) that the question whether a warranty was intended depends on the conduct of the parties, on their words and behaviour, rather than on their thoughts. If an intelligent bystander would reasonably infer that a warranty was intended, that will suffice. What conduct, then? What words and behaviour, lead to the inference of a warranty?

Looking at the cases once more, as we have done so often, it seems to me that if a representation is made in the course of dealings for a contract for the very purpose of inducing the other party to act on it, and it actually induces him to act on it by entering into the contract, that is prima facie ground for inferring that the representation was intended as a warranty. It is not necessary to speak of it as being collateral. Suffice it that the representation was intended to be acted on and was in fact acted on. But the maker of the representation can rebut this inference if he can show that it really was an innocent misrepresentation, in that he was in fact innocent of fault in making it, and that it would not be reasonable in the circumstances for him to be bound by it. In the Oscar Chess case the inference was rebutted. There a man had bought a second-hand car and received with it a log-book, which stated the year of the car, 1948. He afterwards resold the car. When he resold it he simply repeated what was in the log-book and passed it on to the buyer. He honestly believed on reasonable grounds that it was true. He was completely innocent of any fault. There was no warranty by him but only an innocent misrepresentation. Whereas in the present case it is very different. The inference is not rebutted. Here we have a dealer, Mr Smith, who was in a position to know, or at least to find out, the history of the car. He could get it by writing to the makers. He did not do so. Indeed it was done later. When the history of this car was examined, his statement turned out to be quite wrong. He ought to have known better. There was no reasonable foundation for it.

… The county court judge found that the representations were not dishonest. Mr Smith was not guilty of fraud. But he made the statement as to twenty thousand miles without any foundation. And the judge was well justified in finding that there was a warranty.

[DANCKWERTS LJ and SALMON LJ agreed.]

Appeal dismissed.

CHAPTER ***13***

Construing the terms

[13.05] CONSTRUCTION 415
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CONSTRUCTION

[13.05] Construction is the process by which a court determines the meaning and legal effect of the terms of the contract agreed by the parties. In construing a contract, the meaning of the words used by the parties is assessed objectively, by reference to "what a reasonable person having all the background knowledge which would have been available to the parties would have understood them to be using the language in the contract to mean" (*Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38; [2009] 1 AC 1101, [14]). Courts will have regard to (*Arnold v Britton* [2015] UKSC 36; [2015] AC 1619, [15]):

(i) the natural and ordinary meaning of the clause;

(ii) any other relevant provisions of the [contract];

(iii) the overall purpose of the clause and the [contract];

(iv) the facts and circumstances known or assumed by the parties at the time the document was executed [to the extent that evidence of these facts and circumstances is admissible];

(v) commercial common sense; but

(vi) disregarding subjective evidence of any party's intentions.

The process of construing a contract is discussed further below. We begin, however, by considering the evidence admissible in construing a contract.

AVAILABLE EVIDENCE

[13.10] In *L Schuler AG v Wickman Machine Tool Sales Ltd* [1974] AC 235, 261, Lord Wilberforce said:

> The general rule is that extrinsic evidence is not admissible for the construction of a written contract; the parties' intention must be ascertained, on legal principles of construction, from the

> words they have used. It is one and the same principle which excludes evidence of statements, or actions, during negotiations, at the time of the contract, or subsequent to the contract, any of which to the lay mind might at first sight seem to be proper to receive. …
>
> There are of course exceptions. I attempt no exhaustive list of them. In the case of ancient documents, contemporaneous or subsequent action may be adduced in order to explain words whose contemporary meaning may have become obscure. And evidence may be admitted of surrounding circumstances or in order to explain technical expressions or to identify the subject matter of an agreement: or (an overlapping exception), to resolve a latent ambiguity. But ambiguity in this context is not to be equated with difficulty of construction, even difficulty to a point where judicial opinion as to meaning has differed. This is, I venture to think, elementary law.

That first part of that statement was quoted with approval in *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 348. A contentious question has arisen as to whether the exception relating to "surrounding circumstances" is recognised in Australian law.

[13.15] In England, the position is that evidence of the surrounding circumstances should always be admissible in construing a contract. The leading statement of the relevant principles was given by Lord Hoffmann in *Investors Compensation Scheme Ltd v West Bromwich Building Society* [1997] UKHL 28; [1998] 1 WLR 896, 912–3:

> My Lords, I will say at once that I prefer the approach of the learned judge. But I think I should preface my explanation of my reasons with some general remarks about the principles by which contractual documents are nowadays construed. I do not think that the fundamental change which has overtaken this branch of the law, particularly as a result of the speeches of Lord Wilberforce in *Prenn v Simmonds* [1971] 1 WLR 1381, 1384-1386 and *Reardon Smith Line Ltd v Yngvar Hansen-Tangen* [1976] 1 WLR 989, is always sufficiently appreciated. The result has been, subject to one important exception, to assimilate the way in which such documents are interpreted by judges to the common sense principles by which any serious utterance would be interpreted in ordinary life. Almost all the old intellectual baggage of "legal" interpretation has been discarded. The principles may be summarised as follows:
>
> 1. Interpretation is the ascertainment of the meaning which the document would convey to a reasonable person having all the background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract.
> 2. The background was famously referred to by Lord Wilberforce as the "matrix of fact", but this phrase is, if anything, an understated description of what the background may include. Subject to the requirement that it should have been reasonably available to the parties and to the exception to be mentioned next, it includes absolutely anything which would have affected the way in which the language of the document would have been understood by a reasonable man.
> 3. The law excludes from the admissible background the previous negotiations of the parties and their declarations of subjective intent. They are admissible only in an action for rectification. The law makes this distinction for reasons of practical policy and, in this respect only, legal interpretation differs from the way we would interpret utterances in ordinary life. The boundaries of this exception are in some respects unclear. But this is not the occasion on which to explore them.
> 4. The meaning which a document (or any other utterance) would convey to a reasonable man is not the same thing as the meaning of its words. The meaning of words is a matter of dictionaries and grammars; the meaning of the document is what the parties using those words against the relevant background would reasonably have been understood to

> mean. The background may not merely enable the reasonable man to choose between the possible meanings of words which are ambiguous but even (as occasionally happens in ordinary life) to conclude that the parties must, for whatever reason, have used the wrong words or syntax. (See *Mannai Investments Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] 2 WLR 945.)
>
> 5. The "rule" that words should be given their "natural and ordinary meaning" reflects the common sense proposition that we do not easily accept that people have made linguistic mistakes, particularly in formal documents. On the other hand, if one would nevertheless conclude from the background that something must have gone wrong with the language, the law does not require judges to attribute to the parties an intention which they plainly could not have had. Lord Diplock made this point more vigorously when he said in *The Antaios Compania Neviera SA v Salen Rederierna AB* [1985] 1 AC 191, 201:
>
> > … if detailed semantic and syntactical analysis of words in a commercial contract is going to lead to a conclusion that flouts business commonsense, it must be made to yield to business commonsense.

These principles have been approved in a number of cases, see for example, *Bank of Credit and Commerce International SA v Ali* [2001] UKHL 8; [2002] 1 AC 251, [8] and [39]; *Arnold v Britton* [2015] UKSC 36; [2015] AC 1619, [15]. In *Arnold v Britton* [2015] UKSC 36; [2015] AC 1619, [17], the Supreme Court also noted that:

> … the reliance placed in some cases on commercial common sense and surrounding circumstances (eg in *Chartbrook*, at [16]–[26]) should not be invoked to undervalue the importance of the language of the provision which is to be construed. The exercise of interpreting a provision involves identifying what the parties meant through the eyes of a reasonable reader, and, save perhaps in a very unusual case, that meaning is most obviously to be gleaned from the language of the provision. Unlike commercial common sense and the surrounding circumstances, the parties have control over the language they use in a contract. And, again save perhaps in a very unusual case, the parties must have been specifically focussing on the issue covered by the provision when agreeing the wording of that provision.

In Australia in *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 352, Mason J stated that "the true rule is that evidence of surrounding circumstances is admissible to assist in the interpretation of the contract if the language is ambiguous or susceptible of more than one meaning". In *Royal Botanic Gardens and Domain Trust v South Sydney City Council* [2002] HCA 5; (2002) 240 CLR 45, [39], Gleeson CJ, Gaudron, HcHugh, Gummow and Hayne JJ noted that reference had been made in argument to the decisions of the English House of Lords delivered since *Codelfa*, in which the principles of contractual construction are discussed. The High Court said that:

> It is unnecessary to determine whether their Lordships there took a broader view of the admissible "background" than was taken in *Codelfa* or, if so, whether those views should be preferred to those of this court. Until that determination is made by this court, other Australian courts, if they discern any inconsistency with *Codelfa*, should continue to follow *Codelfa*.

Subsequent decisions of the High Court suggested, without confirming, that evidence of the surrounding circumstances is generally admissible. For example in *Maggbury Pty Ltd v Hafele Australia Pty Ltd* [2001] HCA 70; (2001) 210 CLR 181, [11], the High Court stated:

> Interpretation of a written contract involves, as Lord Hoffmann has put it: "the ascertainment of the meaning which the document would convey to a reasonable person having all the

> background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract."

See also *Pacific Carriers Ltd v BNP Paribas* [2004] HCA 35; (2004) 218 CLR 451, [22]; *Toll (FGCT) Pty Ltd v Alphapharm Pty Ltd* [2004] HCA 52; (2004) 219 CLR 165, [40]; *International Air Transport Association v Ansett Australia Holdings Ltd* [2008] HCA 3; (2008) 234 CLR 151, [8]; *Byrnes v Kendle* [2011] HCA 26; (2011) 243 CLR 253, [98].

A number of intermediate appellate courts took these statements as confirming that a court does not need to find that the language of a contract is ambiguous before admitting evidence of the circumstances surrounding the contract for the purpose of construing that contract; see, in particular, *Franklins Pty Ltd v Metcash Trading Ltd* [2009] NSWCA 407; (2009) 76 NSWLR 603. The current position is far from clear. The High Court reaffirmed its view as to the correct approach in *Western Export Services Inc v Jireh International Pty Ltd* [2011] HCA 45 but then seemed to revert to the more generous approach to extrinsic evidence in *Electricity Generation Corporation v Woodside Energy Ltd* [2014] HCA 7; (2014) 251 CLR 640, followed by an affirmation of the need for ambiguity before considering evidence of the surrounding circumstances in *Mount Bruce Mining Pty Ltd v Wright Prospecting Pty Ltd* [2015] HCA 37; (2015) 256 CLR 104, all extracted below.

Western Export Services v Jireh International

[13.18] *Western Export Services Inc v Jireh International Pty Ltd* [2011] HCA 45 – Appeal from the Supreme Court of New South Wales.

GUMMOW, HEYDON AND BELL JJ: [1] This is an application for special leave to appeal from a decision of the New South Wales Court of Appeal (*Jireh International Pty Ltd v Western Export Services Inc* [2011] NSWCA 137), in which Macfarlan JA gave the leading judgment. The dispute concerned the construction of cl 3 of a "Letter of Agreement" concerning the franchising in Australia of Gloria Jean's Gourmet Coffee Stores. In the passage in which he found error in principle in the reasons of the primary judge, his Honour said ([2011] NSWCA 137, [56]):

> A court is not justified in disregarding unambiguous language simply because the contract would have a more commercial and businesslike operation if an interpretation different to that dictated by the language were adopted.

His Honour added ([2011] NSWCA 297, [18]) that the primary judge appeared:

> to have acted on the basis that the provision would make more sense from a commercial point of view

if it were construed as the primary judge did construe that provision. These statements by Macfarlan JA since have been applied by the New South Wales Court of Appeal in *Miwa Pty Ltd v Siantan Properties Pte Ltd* [2011] NSWCA 297, [18].

[2] The primary judge had referred to what he described as "the summary of principles" in *Franklins Pty Ltd v Metcash Trading Ltd* [2009] NSWCA 407; (2009) 76 NSWLR 603, 618 [19] and following. The applicant in this Court refers to that decision and to *MBF Investments Pty Ltd v Nolan* [2011] VSCA 114, [195]–[204] as authority rejecting the requirement that it is essential to identify ambiguity in the language of the contract before the court may have regard to the surrounding circumstances and object of the transaction. The applicant also refers to statements in England said to be to the same effect, including that by Lord Steyn in *R (Westminster City Council) v National Asylum Support Service* [2002] UKHL 38; (2002) 1 WLR 2956, 2958-2959 [4]–[5].

[3] Acceptance of the applicant's submission, clearly would require reconsideration by this Court of what was said in *Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337,

Western Export Services v Jireh International cont.

352 by Mason J, with the concurrence of Stephen J and Wilson J, to be the "true rule" as to the admission of evidence of surrounding circumstances. Until this Court embarks upon that exercise and disapproves or revises what was said in Codelfa, intermediate appellate courts are bound to follow that precedent. The same is true of primary judges, notwithstanding what may appear to have been said by intermediate appellate courts.

[4] The position of *Codelfa*, as a binding authority, was made clear in the joint reasons of five Justices in *Royal Botanic Gardens and Domain Trust v South Sydney City Council* [2002] HCA 5; (2002) 240 CLR 45, 62-63 [39] and it should not have been necessary to reiterate the point here.

[5] We do not read anything said in this Court in *Pacific Carriers Ltd v BNP Paribas*; *Toll (FGCT) Pty Ltd v Alphapharm Pty Ltd* (2004) HCA 35; (2004) 218 CLR 451, 461-462 [22]; *Wilkie v Gordian Runoff Ltd* [2004] HCA 52, [40]; (2004) 219 CLR 165, 179 and *International Air Transport Association v Ansett Australia Holdings Ltd* [2008] HCA 3; (2008) 234 CLR 151, 160 [8] as operating inconsistently with what was said by Mason J in the passage in *Codelfa* to which we have referred.

[6] However, the result reached by the Court of Appeal in this case was correct. Further, even if, as the applicant contends, cl 3 in the Letter of Agreement should be construed as understood by a reasonable person in the position of the parties, with knowledge of the surrounding circumstances and the object of the transaction, the result would have been no different. Accordingly, special leave is refused with costs.

Electricity Generation Corporation v Woodside Energy Ltd

[13.20] *Electricity Generation Corporation v Woodside Energy Ltd* [2014] HCA 7; (2014) 251 CLR 640 – High Court of Australia.

FRENCH CJ, HAYNE, CRENNAN and KIEFEL JJ: [35] … The meaning of the terms of a commercial contract is to be determined by what a reasonable businessperson would have understood those terms to mean (*McCann v Switzerland Insurance Australia Ltd* (2000) 203 CLR 579 at 589 [22] per Gleeson CJ; [2000] HCA 65; *Pacific Carriers Ltd v BNP Paribas* (2004) 218 CLR 451 at 462 [22] per Gleeson CJ, Gummow, Hayne, Callinan and Heydon JJ; [2004] HCA 35; *International Air Transport Association v Ansett Australia Holdings Ltd* (2008) 234 CLR 151 at 160 [8] per Gleeson CJ; [2008] HCA 3; see further *Maggbury Pty Ltd v Hafele Australia Pty Ltd* (2001) 210 CLR 181 at 188 [11] per Gleeson CJ, Gummow and Hayne JJ; [2001] HCA 70, citing *Investors Compensation Scheme Ltd v West Bromwich Building Society* [1998] 1 WLR 896, 912. See also *Homburg Houtimport BV v Agrosin Private Ltd* [2004] 1 AC 715 at 737 [10] per Lord Bingham of Cornhill.). That approach is not unfamiliar (See, for example, *Hydarnes Steamship Co v Indemnity Mutual Marine Assurance Co* [1895] 1 QB 500 at 504 per Lord Esher MR; *Bergl (Australia) Ltd v Moxon Lighterage Co Ltd* (1920) 28 CLR 194 at 199 per Knox CJ, Isaacs and Gavan Duffy JJ; [1920] HCA 41; see generally Lord Bingham of Cornhill, "A New Thing Under the Sun? The Interpretation of Contract and the *ICS* Decision" (2008) 12 *Edinburgh Law Review* 374). As reaffirmed, it will require consideration of the language used by the parties, the surrounding circumstances known to them and the commercial purpose or objects to be secured by the contract (*Pacific Carriers Ltd v BNP Paribas* (2004) 218 CLR 451 at 461-462 [22] per Gleeson CJ, Gummow, Hayne, Callinan and Heydon JJ; *Toll (FGCT) Pty Ltd v Alphapharm Pty Ltd* (2004) 219 CLR 165 at 179 [40] per Gleeson CJ, Gummow, Hayne, Callinan and Heydon JJ; [2004] HCA 52; *International Air Transport Association v Ansett Australia Holdings Ltd* (2008) 234 CLR 151 at 160 [8] per Gleeson CJ, 174 [53] per Gummow, Hayne, Heydon, Crennan and Kiefel JJ; *Byrnes v Kendle* (2011) 243 CLR 253 at 284 [98] per Heydon and Crennan JJ; [2011] HCA 26. See also *Charter Reinsurance Co Ltd v Fagan* [1997] AC 313 at 326, 350; *Rainy Sky SA v Kookmin Bank* [2011] 1 WLR 2900 at 2906-2907 [14]. Appreciation of the commercial purpose or objects is facilitated by an understanding "of the genesis of the transaction, the

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background, the context [and] the market in which the parties are operating" (*Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337 at 350; [1982] HCA 24, citing *Reardon Smith Line Ltd v Yngvar Hansen-Tangen* [1976] 1 WLR 989 at 995-996. See also *Zhu v Treasurer of New South Wales* (2004) 218 CLR 530; [2004] HCA 56 at 559 [82] per Gleeson CJ, Gummow, Kirby, Callinan and Heydon JJ; *International Air Transport Association v Ansett Australia Holdings Ltd* (2008) 234 CLR 151 at 160 [8] per Gleeson CJ). As Arden LJ observed in *Re Golden Key Ltd* [2009] EWCA Civ 636 at [28], unless a contrary intention is indicated, a court is entitled to approach the task of giving a commercial contract a businesslike interpretation on the assumption "that the parties … intended to produce a commercial result". A commercial contract is to be construed so as to avoid it "making commercial nonsense or working commercial inconvenience" (*Zhu v Treasurer of New South Wales* (2004) 218 CLR 530 at 559 [82] per Gleeson CJ, Gummow, Kirby, Callinan and Heydon JJ. See also *Gollin & Co Ltd v Karenlee Nominees Pty Ltd* (1983) 153 CLR 455 at 464; [1983] HCA 38).

Mount Bruce Mining Pty Ltd v Wright Prospecting Pty Ltd

[13.22] *Mount Bruce Mining Pty Ltd v Wright Prospecting Pty Ltd* [2015] HCA 37; (2015) 256 CLR 104.

FRENCH CJ, NETTLE AND GORDON JJ.

Applicable legal principles in these appeals

[46] The rights and liabilities of parties under a provision of a contract are determined objectively (*Electricity Generation Corporation v Woodside Energy Ltd* [2014] HCA 7; (2014) 251 CLR 640, [35]), by reference to its text, context (the entire text of the contract as well as any contract, document or statutory provision referred to in the text of the contract) and purpose (*Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 350, citing *Reardon Smith Line Ltd v Yngvar Hansen-Tangen* [1976] 1 WLR 989, 995-996). See also Sir Anthony Mason, "Opening Address" (2009) 25 *Journal of Contract Law* 1 at 3).

[47] In determining the meaning of the terms of a commercial contract, it is necessary to ask what a reasonable businessperson would have understood those terms to mean (*Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, [35]). That enquiry will require consideration of the language used by the parties in the contract, the circumstances addressed by the contract and the commercial purpose or objects to be secured by the contract (*Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, [35]).

[48] Ordinarily, this process of construction is possible by reference to the contract alone. Indeed, if an expression in a contract is unambiguous or susceptible of only one meaning, evidence of surrounding circumstances (events, circumstances and things external to the contract) cannot be adduced to contradict its plain meaning (*Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 352. See also Sir Anthony Mason, "Opening Address", (2009) 25 *Journal of Contract Law* 1, 3).

[49] However, sometimes, recourse to events, circumstances and things external to the contract is necessary. It may be necessary in identifying the commercial purpose or objects of the contract where that task is facilitated by an understanding "of the genesis of the transaction, the background, the context [and] the market in which the parties are operating" (*Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, [35], citing *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 350, in turn citing *Reardon Smith Line Ltd v Yngvar Hansen-Tangen* [1976] 1 WLR 989, 995-996). It may be necessary in determining the proper construction where there is a constructional choice. The question whether events, circumstances and things external to the contract may be resorted to, in order to identify the existence of a constructional choice, does not arise in these appeals.

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[50] Each of the events, circumstances and things external to the contract to which recourse may be had is objective. What may be referred to are events, circumstances and things external to the contract which are known to the parties or which assist in identifying the purpose or object of the transaction, which may include its history, background and context and the market in which the parties were operating. What is inadmissible is evidence of the parties' statements and actions reflecting their actual intentions and expectations (*Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 352; *Reardon Smith Line Ltd v Yngvar Hansen-Tangen* [1976] 1 WLR 989, 995-996).

[51] Other principles are relevant in the construction of commercial contracts. Unless a contrary intention is indicated in the contract, a court is entitled to approach the task of giving a commercial contract an interpretation on the assumption "that the parties … intended to produce a commercial result" (*Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, [35], citing *Re Golden Key Ltd* [2009] EWCA Civ 636, [28]). Put another way, a commercial contract should be construed so as to avoid it "making commercial nonsense or working commercial inconvenience" (*Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, [35], citing *Zhu v Treasurer of New South Wales* [2004] HCA 56; (2004) 218 CLR 530, [82]).

[52] These observations are not intended to state any departure from the law as set out in *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* ((1982) 149 CLR 337) and *Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640. We agree with the observations of Kiefel and Keane JJ with respect to *Western Export Services Inc v Jireh International Pty Ltd* [2011] HCA 45.

KIEFEL AND KEANE JJ: [109] In *Electricity Generation Corporation v Woodside Energy Ltd* ((2014) 251 CLR 640; [2014] HCA 7, [35]), French CJ, Hayne, Crennan and Kiefel JJ explained that a commercial contract should be construed by reference to the surrounding circumstances known to the parties and the commercial purpose or objects to be secured by the contract in order to avoid a result that could not have been intended.

[110] The "ambiguity" which Mason J said may need to be resolved arises when the words are "susceptible of more than one meaning" (*Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 352). His Honour did not say how such an ambiguity might be identified. His Honour's reasons in Codelfa are directed to how an ambiguity might be resolved.

[111] In reasons for the refusal of special leave to appeal given in *Western Export Services Inc v Jireh International Pty Ltd* [2011] HCA 45, [2], reference was made to a requirement that it is essential to identify ambiguity in the language of the contract before the court may have regard to the surrounding circumstances and the object of the transaction. There may be differences of views about whether this requirement arises from what was said in *Codelfa*. This is not the occasion to resolve that question.

[112] It should, however, be observed that statements made in the course of reasons for refusing an application for special leave create no precedent and are binding on no one. An application for special leave is merely an application to commence proceedings in the Court (*North Ganalanja Aboriginal Corporation v Queensland* (1996) 185 CLR 595, 643 per McHugh J). Until the grant of special leave there are no proceedings inter partes before the Court.

[113] The question whether an ambiguity in the meaning of terms in a commercial contract may be identified by reference to matters external to the contract does not arise in this case and the issue identified in Jireh has not been the subject of submissions before this Court. To the extent that there is any possible ambiguity as to the meaning of the words "deriving title through or under", it arises from the terms of cl 24(iii) itself.

BELL AND GAGELER JJ: [118] These appeals do not raise an important question on which intermediate courts of appeal are currently divided. That question is whether ambiguity must be shown before a court interpreting a written contract can have regard to background circumstances.

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[119] Until that question is squarely raised in and determined by this Court, the question remains for other Australian courts to determine on the basis that *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 remains binding authority. That point, which of itself says nothing about the scope of the holding in *Codelfa*, was made in the joint reasons for judgment in *Royal Botanic Gardens and Domain Trust v South Sydney City Council* (2002) 240 CLR 45; [2002] HCA 5, [39]. The point was reiterated, but taken no further, in the joint reasons for refusing special leave to appeal in *Western Export Services Inc v Jireh International Pty Ltd* [2011] HCA 45, [3]-[4]. It should go without saying that reasons for refusing special leave to appeal in a civil proceeding are not themselves binding authority.

[13.23] Notes

1. These different statements from the High Court on the admissibility of evidence of the surrounding circumstances in construing a contract have created considerable uncertainty as to the correct approach: see Lindgren, "The Ambiguity of 'Ambiguity' in the Construction of Contracts" (2014) 38 *Australian Bar Review* 153.

2. In *McCourt v Cranston* [2012] WASCA 60, Pullin JA (with whom Newnes JA and Murphy JA agreed) stated:

> [24] Usually, the meaning of "ambiguous" is taken to include "open to various interpretations": see *Macquarie Dictionary*, but by using the phrase "ambiguous or susceptible of more than one meaning" perhaps Mason J wished to emphasise that not only a contract open to more than one meaning would allow in evidence of surrounding circumstances but also one where the contract is merely "difficult to understand". Once evidence of surrounding circumstances is allowed in, the restrictions on such evidence are clear. Evidence of subjective opinions are not admissible, nor is evidence of negotiations; the surrounding circumstances have to be objective facts and they have to be known to both parties.
>
> [25] If a trial judge decides that the contract under examination is not ambiguous or susceptible of more than one meaning, and rules that evidence of surrounding circumstances is not admissible, and an appeal court then decides that decision to be in error, then the case will have to be reheard, because relevant evidence will have been excluded. If, however, the trial judge receives evidence of surrounding circumstances and evidence of the object or aim of the transaction, and if the trial judge's construction is found to be in error, then the Court of Appeal will be able to remedy that on appeal without sending it back for retrial.
>
> [26] Until the High Court says more about the subject, it would be wise for trial judges, in cases where a party reasonably contends that the contract is ambiguous or susceptible of more than one meaning and there is relevant evidence of objective relevant surrounding circumstances known to both parties or objective evidence of the aim or object of the transaction, to allow that evidence in provisionally, even if the trial judge considers that his or her likely conclusion will be to reject the argument of the party contending that the agreement is ambiguous or susceptible of more than one meaning.

3. In *Cherry v Steele-Park* [2017] NSWCA 295; (2017) 96 NSWLR 548, [71] Leeming JA (with whom Ward and Emmett JJA agreed) adhered to the position adopted in earlier cases (including *Mainteck Services Pty Ltd v Stein Heurtey SA* [2014] NSWCA 184;

(2014) 89 NSWLR 633, [71]–[85]) that, on the Court of Appeal's interpretation of the relevant authorities, regard may be had to surrounding circumstances, "without passing through an 'ambiguity gateway' ". Leeming JA maintained at [79] that "two more recent decisions of the High Court [*Victoria v Tatts Group Ltd* [2016] HCA 5 and *Simic v NSW Land and Housing Corporation* [2016] HCA 47, (2016) 260 CLR 85] strengthen the conclusion that 'ambiguity' is a conclusion, rather than a precondition to the admissibility of evidence of surrounding circumstances".

4. That interpretation of the law was rejected by Tate JA in the Victorian Court of Appeal in *Apple and Pear Australia Ltd v Pink Lady America LLC* [2016] VSCA 280:

> [137] In my view, it follows from what was said in *Mount Bruce* that it would be wrong to conclude that the High Court has endorsed an approach to the construction of commercial contracts, whereby the surrounding circumstances, including, relevantly, pre-contractual negotiations, can invariably be relied upon to assist construction. This is not to deny that the objective approach to contractual interpretation requires, as confirmed by French CJ, Nettle and Gordon JJ in *Mount Bruce*, reference to the '"text, context (the entire text of the contract as well as any contract, document or statutory provision referred to in the text of the contract) and purpose".

5. In the same case (ie, *Apple and Pear Australia Ltd v Pink Lady America LLC* [2016] VSCA 280, [232]) Ferguson and McLeish JJA found it unnecessary to answer the narrower question as to whether or not extrinsic evidence can be relied upon to establish an ambiguity.

THE PROCESS OF CONSTRUCTION

[13.25] In construing a contract, courts consider the meaning that a reasonable person would give to the contract. The cases extracted in this section, *Royal Botanic Gardens and Domain Trust v South Sydney City Council* [2002] HCA 5; (2002) 240 CLR 45 and *Pacific Carriers Ltd v BNP Paribas* [2004] HCA 35; (2004) 218 CLR 451, illustrate the courts' approach to this task.

Royal Botanic Gardens and Domain Trust v South Sydney City Council

[13.30] *Royal Botanic Gardens and Domain Trust v South Sydney City Council* [2002] HCA 5; (2002) 240 CLR 45 (High Court of Australia) – Appeal from the New South Wales Court of Appeal.

[FACTS: In 1976, the *Trustees* of the Domain (the *lessor*) and the Council of the City of Sydney (the *lessee*) entered into a lease for a term of 50 years for a part of land known of as the Domain containing a "parking station" and a footway leading to the parking station.

Clause 1 of the lease provided that the yearly rent during the first three years of the lease was $2,000. Clause 4(b)(iv) provided that the yearly rent payable during each subsequent three-year period:

> may be determined by the Trustees at the commencement of each of the affected periods … provided that … (iv) in making any such determination the Trustees may have regard to additional costs and expenses which they may incur in regard to the surface of the Domain above or in the vicinity of the parking station and the footway and which arise out of the construction operation and maintenance of the parking station by the Lessee.

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The lessee instituted a proceeding in the Supreme Court of New South Wales seeking declaratory relief respecting the construction of cl 4(b). The relief sought was to the effect that the lessor, in determining any amount of yearly rent in excess of the yearly rent payable over the three-year period immediately prior to that in question, was constrained by cl 4(b)(iv) only to do so by having regard to any additional costs and expenses which the lessor might incur during the three-year period for which the yearly rent was being determined in respect of the surface of the Domain above or in the vicinity of the parking station and footway and which arose out of the construction, operation and maintenance of the parking station by the lessee and not by reference to any other considerations.

The primary judge did not accept this construction of the lease. Instead, the primary judge granted a declaration that the lease had "an implied term that in making a determination of rent pursuant to cl 4(b), the lessor must act bona fide for the purposes of determining a rent which is no more than a fair and reasonable rent". This relief did not reflect the constraint which the lessee maintained was imposed by cl 4(b)(iv) and favoured the interests of the lessor. Accordingly, the lessee appealed to the Court of Appeal and was successful. The relief granted by the Court of Appeal included a declaration that cl 4(b)(iv) specified exhaustively the considerations material to a determination by the lessor of the rent payable pursuant to the lease. The lessor was granted leave to appeal to the High Court.]

GLEESON CJ, GAUDRON, MCHUGH, GUMMOW AND HAYNE JJ: [52] In our opinion, the Court of Appeal reached the correct result and the appeal to this court should be dismissed. In his judgment, Fitzgerald JA [the trial judge] referred to well-known passages in the judgment of Mason J in *Codelfa Construction Pty Ltd v State Rail Authority (NSW)* (1982) 149 CLR 337, 374–5 respecting the admissibility of evidence of surrounding circumstances to assist in the interpretation of a written contract if the language be ambiguous or susceptible of more than one meaning. In the present case, the difficulty concerns the phrase in para (iv) of cl 4(b) "the Trustees may have regard to additional costs and expenses". Does this mean that the trustees, in making a determination, cannot have regard to matters other than those additional costs and expenses? If the trustees may have regard to other matters, what are they? In a context such as cl 4(b), to specify a particular matter to which a party may have regard without expressly stating either that it is the only such matter or, to the contrary, that the specification does not limit the generality of the matters to which regard may be had is likely to result in ambiguity. It does so in the present case. The resolution of the ambiguity requires the application of settled principles of construction.

In *Codelfa*, Mason J (with whose judgment Stephen J and Wilson J agreed) referred to authorities (in particular, speeches of Lord Wilberforce in *Prenn v Simmonds* [1971] 1 WLR 1381, 1383–5; *L Schuler AG v Wickman Machine Tool Sales Ltd* [1974] AC 235, 261; and *Reardon Smith Line Ltd v Hansen-Tangen* [1976] 1 WLR 989, 995–7) which indicated that, even in respect of agreements under seal, it is appropriate to have regard to more than internal linguistic considerations and to consider the circumstances with reference to which the words in question were used and, from those circumstances, to discern the objective which the parties had in view. In particular, an appreciation of the commercial purpose of a contract (*Reardon Smith Line Ltd v Hansen-Tangen* [1976] 1 WLR 989, 995–6): presupposes knowledge of the genesis of the transaction, the background, the context, the market in which the [53] parties are operating. Such statements exemplify the point made by Brennan J in his judgment in *Codelfa* (1982) 149 CLR 337, 401: "The meaning of a written contract may be illuminated by evidence of facts to which the writing refers, for the symbols of language convey meaning according to the circumstances in which they are used". …

[60] Consideration of the antecedent materials and circumstances respecting the dealings between the predecessors of the present parties before entering into the deed in 1976 indicates various relevant matters: the parties to the transaction were two public authorities, in one of which there had been vested land long dedicated for public recreation; the purpose of their transaction was the provision of a further public facility, in the form of the parking station and the footway, but without disturbing the availability of the surface for continued public recreation and without providing for the obtaining by one public authority of commercial profit at the expense of the other; it was the lessee which was

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responsible for the substantial cost of construction of the new facility and the concern of the parties had been to protect the lessor from financial disadvantage suffered from the transaction, namely additional expense which the lessor would or might incur immediately or in the future.

In the deed itself, various of these considerations are directly reflected. In particular, to the argument that, to deny to the lease a construction which permits the lessor now to determine a yearly rent at a "commercial" or "market" rate would unduly favour the interests of the lessee, the lessee responds by pointing to the capital investment made by its predecessor, and to the onerous obligations respecting the car park which bind the lessee.

The recital, to which reference has been made earlier in these reasons, refers to the construction by the lessee in the subterranean strata of the parking station and footway; other provisions indicate that [61] it is the lessee who bears all costs of operating the car park, maintaining it and refurbishing throughout its life as necessary and that, at the end of the term, the lessee will be obliged either to give up the car park to the lessor with no compensation in respect thereof or to follow the steps indicated in the proviso to cl 4(c).

These stated:

PROVIDED HOWEVER that:

> (i) the Lessee may upon the expiration or sooner determination of this lease or within six months [thereafter] and with the previous consent in writing of the Trustees remove from the demised land all moveable improvements which may have been placed on the demised land by the Lessee or at the cost and expense of the Lessee; (ii) if the Trustees by notice in writing to the Lessee direct the Lessee so to do the Lessee shall remove any building structure or improvement or any material from the demised land at the expense and cost of the Lessee and the Lessee shall not be entitled to any compensation in respect of such removal …

If the trustees give the consent indicated in (i) or a direction in (ii), cl 4(c)(iii) will require the lessee to:

> remove the movable improvements or the buildings structures or improvements or materials as the case may be from the demised land within such time as may be specified by the Trustees in such permission or direction and [to] leave the land hereby demised in a clean and tidy condition and free from rubbish and debris and restore the surface thereof for use as parkland for public recreation to the satisfaction in all respects of the Trustees.

Moreover, the lease may be brought to a premature determination; the lease is (cl 4(m)):

> subject to the power of the Minister to revoke wholly or in part the dedication of the subject land AND if such [dedication] be revoked in whole or part during the currency of this lease the rights and privileges hereby conferred shall as to the land so revoked absolutely cease and determine and neither the Lessee nor any other person shall be entitled to any compensation on account of such revocation.

The lessee is obliged by cl 2(g) to keep the parking station and the footway and all appurtenances thereto in good and efficient condition and in a thorough state of repair "in all respects to the satisfaction of the Trustees".

The lessee is obliged by cl 2(h) to ensure that the surface of the Domain above the parking station and the footway do not become, in the opinion of the trustees, unsafe for use as parkland for public recreation. Further, it is for the lessee to pay to the proper authorities all charges for services supplied by them to the demised land or the parking station and footway, including charges for gas, electricity, excess water, removal of garbage and the rent of gas and electricity meters: cl 2(p).

[62] It is against that background that para (iv) of cl 4(b) is to be construed. This states that, in making any such determination of the yearly rent payable in respect of the then succeeding three years of the term, the trustees "may have regard to additional costs and expenses" which have a certain character. First, they must be incurred in regard to the surface of the Domain above or in the

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vicinity of the parking station and the footway; secondly, the additional costs and expenses must arise out of the construction, operation and maintenance of the parking station by the lessee. The word "additional" indicates that para (iv) is concerned with that which has not been taken into account in the immediately prior determination. As the successive determinations were made, each might be expected to include additional costs and expenses identified in para (iv). In the determination for the next succeeding three years, those additional costs and expenses would be measured against what was now said to be "additional". The clause made no provision for the trustees having regard in their determination to any other additional matters. Clause 4(b) read as a whole contained a statement of the totality of the matters to be taken into account in fixing the successive rent determinations. That is the way in which the arrangements between the parties had been agreed some 20 years before the execution of the deed in 1976. There is nothing to suggest that in the intervening period the parties had conducted [301] themselves on any basis other than that the rent was to be computed in this fashion. Moreover, for the purposes of determining the rights and obligations of the parties to the lease, cl 4(b) was to be construed as if it had been executed on 1 May 1958: cl 4(l).

This conclusion is reinforced by the absence from the lease of any mechanism for dispute resolution in relation to periodic rent determinations by the trustees. There are no provisions concerning arbitration, or valuation, of the kind that often appear in rent review clauses in long-term leases. This is consistent with the non-commercial nature of the transaction. If cl 4(b) be construed to the above effect, no question of uncertainty arises (cf *Queensland Electricity Generating Board v New Hope Collieries Pty Ltd* [1989] 1 Lloyd's Rep 205, 210). An implied term in the form favoured by the primary judge and urged by the appellant in this court would contradict the express terms of cl 4(b) (*Codelfa Construction Pty Ltd v State Rail Authority (NSW)* (1982) 149 CLR 337, 352).

Two further matters should be noticed. First, reference was made in argument to several decisions of the House of Lords, delivered since *Codelfa* but without reference to it. Particular reference was made to passages in the speeches of Lord Hoffmann in *Investors Compensation Scheme Ltd v West Bromwich Building Society* [1998] 1 WLR 896, 912–13 and of Lord Bingham of Cornhill and Lord Hoffmann in *Bank of Credit and* [63] *Commerce International SA v Ali* [2002] 1 AC 251, 259, 269 (cf *Melanesian Mission Trust Board v Australian Mutual Provident Society* [1997] 1 NZLR 391, 394–5; *Yoshimoto v Canterbury Golf International Ltd* [2001] 1 NZLR 523, 542), in which the principles of contractual construction are discussed. It is unnecessary to determine whether their Lordships there took a broader view of the admissible "background" than was taken in *Codelfa* or, if so, whether those views should be preferred to those of this court. Until that determination is made by this court, other Australian courts, if they discern any inconsistency with *Codelfa*, should continue to follow *Codelfa (Garcia v National Australia Bank Ltd* (1998) 194 CLR 395, 403).

The second matter concerns the debate in various Australian authorities concerning the existence and content of an implied obligation or duty of good faith and fair dealing in contractual performance and the exercise of contractual rights and powers. (The authorities are collected and discussed by Finn J in *Hughes Aircraft Systems International v Airservices Australia* (1997) 76 FCR 151, 188–98.) It emerged in argument in this court that both sides accepted the existence of such an obligation in the exercise by the lessor of its rental determination power conferred by cl 4(b). Rather, the dispute between them was directed to the content of that power, in particular the construction of para (iv) of cl 4(b). The result is that, whilst the issues respecting the existence and scope of a "good faith" doctrine are important, this is an inappropriate occasion to consider them.

The Court of Appeal was correct in the declaration made in order 2 of its orders ordered and entered on 31 August 2000. No question for this court arises as to the consequential relief given by the Court of Appeal.

[CALLINAN J agreed that the appeal should be dismissed. KIRBY J dissented.]

Appeal dismissed.

The objective approach

Pacific Carriers v BNP Paribas

[13.35] *Pacific Carriers Ltd v BNP Paribas* [2004] HCA 35; (2004) 218 CLR 451 – Appeal from the Supreme Court of New South Wales.

[FACTS: A cargo of legumes was sold by New England Agricultural Traders Pty Ltd (*NEAT*) to Royal Trading Co (*Royal*), a Calcutta grain merchant, and was shipped from Australia to India by Pacific Carriers Ltd (*Pacific*). NEAT instructed Pacific to deliver the cargo to such persons as might be directed by Royal. NEAT's brokers sent Pacific a letter of indemnity in respect of loss and damage that Pacific might suffer by discharging the cargo to receivers without bills of lading. The letter of indemnity was signed by Royal, and also by Royal's bank, which disclaimed any liability and merely confirmed Royal's signature. Pacific rejected that letter of indemnity. NEAT then signed a letter of indemnity in the same form as the letter provided by Royal but without the disclaimer. NEAT asked its bank, BNP, to add its signature to the letter of indemnity. The bank officer (*Ms Dhiri*) signed the letter in the space reserved for "Banker's signature" and affixed BNP's stamp to it. NEAT transmitted a copy of the letter to Pacific by facsimile. Ms Dhiri was authorised to verify customers' signatures on letters of indemnity but not to bind the bank to any indemnity. That limitation on Ms Dhiri's actual authority was not known by Pacific. Pacific subsequently suffered loss as a result of its having delivered the cargo without the bills of lading. Pacific sued BNP in the Supreme Court of New South Wales to enforce the letters of indemnity, NEAT being insolvent. Hunter J found that by signing the letters of indemnity BNP had represented that NEAT had the financial capacity to honour the obligations under the letters of indemnity. The Court of Appeal of the Supreme Court of NSW (Sheller, Handley and Giles JJA) held that BNP was not liable under the letters because Ms Dhiri had neither actual nor ostensible authority to bind BNP to an indemnity. Pacific appealed to the High Court.]

THE COURT (GLEESON CJ, GUMMOW, HAYNE, CALLINAN and HEYDON JJ):

The construction issue

[461]The nature of the obligations undertaken by BNP in consequence of the signature and transmission to Pacific of the letters of indemnity depends upon the meaning of the documents, the particular problem being the capacity in which, on the true construction of the documents, the bank was involved in the transaction. That question has a factual relationship to the question of Ms Dhiri's authority, in that both she, and her superior, Mr Kavanagh, gave evidence that it was their understanding that all that BNP was doing was authenticating NEAT's execution of the letters of indemnity.

Ms Dhiri gave evidence that she told NEAT that execution by BNP was only for verification of the signatures. That evidence was denied. Hunter J said he had great difficulty in deciding where the truth lay. He accepted that "something must have been said by [Ms Dhiri] at one time or another to a NEAT representative that, in her mind, conveyed the message that she was signing the NEAT LOIs merely for verification of signatures", but he did not accept that any such limitation was effectively communicated to NEAT. More significantly, it was never communicated to Pacific.

What is important is not Ms Dhiri's subjective intention, or even what she might have conveyed, or attempted to convey, to NEAT about her understanding of what she was doing. The letters of indemnity were, and were intended by NEAT and BNP to be, furnished to Pacific. Pacific did not know what was going on in Ms Dhiri's mind, or what she might have communicated to NEAT as to her understanding or intention. The case provides a good example of the reason why the meaning of commercial documents is determined objectively: it was only the documents that spoke to [462] Pacific *(Wilson) v Anderson* (2002) 213 CLR 401, 417-419 [7]-[10]. The construction of the letters of indemnity is to be determined by what a reasonable person in the position of Pacific would have understood them to mean (*Gissing v Gissing* [1971] AC 886, 906; *Christopher Hill Ltd v Ashington Piggeries Ltd* [1972] AC 441, 502; *ABC v XIVth Commonwealth Games Ltd* (1988) 18 NSWLR 540). That requires consideration, not only of the text of the documents, but also the surrounding circumstances known to Pacific and BNP, and the purpose and object of the transaction (*Investors Compensation Scheme Ltd v*

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West Bromwich Building Society [1998] 1 WLR 896). In *Codelfa Constructions Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337, 350. See further *Royal Botanic Gardens and Domain Trust v South Sydney City Council* (2002) 76 ALJR 436, 445 [39]. Mason J set out with evident approval the statement by Lord Wilberforce in *Reardon Smith Line Ltd v Hansen-Tangen* ([1976] 1 WLR 989, 995-996):

> In a commercial contract it is certainly right that the court should know the commercial purpose of the contract and this in turn presupposes knowledge of the genesis of the transaction, the background, the context, the market in which the parties are operating.

It is not suggested that there is any material difference between the two letters of indemnity. It is convenient to deal with the construction question by reference to the first.

The heading of the document describes it as a "standard form of undertaking" to be given in connection with delivery of cargo "without production of the bills of lading". The reason why a carrier would seek such an undertaking has already been explained. The heading contains a misdescription. It describes the undertaking as being "given by cargo receivers". The body of the document contains an undertaking by the shippers. The explanation is fairly obvious. An abortive attempt had been made earlier by NEAT to provide Pacific with a bank endorsed indemnity from Royal. The same "standard form" was used for NEAT's indemnity. That also accounts for the terms of cl 4.

The primary indemnifying party is NEAT. The question concerns the effect of BNP's signature and stamp (leaving to one side the issue of authority). Pacific argues that it was a bank endorsement under which BNP also accepted liability as an indemnifier. The commercial purpose was plain. Pacific was being requested by NEAT to take a risk by delivering cargo to receivers who could not produce the appropriate bills of lading. Pacific informed NEAT, and NEAT informed BNP, that Pacific would not agree to take that risk unless NEAT's bank also [463] signed the document. Pacific had only limited knowledge of the financial capacity of NEAT to meet its obligations under the indemnity. The terms of the document, understood in the light of the surrounding circumstances and the purpose and object of the transaction, and the market in which the parties were operating, meant that BNP was undertaking an obligation of indemnity. Relevant to the meaning of the document was not only what it said, but also what it did not say. There was nothing in the terms of the document to indicate that BNP was merely authenticating the execution by NEAT, and there was nothing in the surrounding circumstances to suggest that Pacific would accept such authentication only. A reasonable reader in the position of Pacific would have understood the document as a bank endorsed absent bills of lading indemnity, and would have understood that the bank was undertaking liability as an indemnifying party to support the liability undertaken by NEAT. The decision of the Court of Appeal on the construction issue was correct.

…

[The court also held that it would be unjust to permit BNP to depart from the Pacific's assumption that the letters of credit had been executed with the BNP's authority in circumstances where BNP had placed the officer who dealt with requests for letters of indemnity in a position to sign and stamp them.]

Appeal allowed.

Purposive construction

Ecosse Property Holdings v Gee Dee Nominees

[13.37] *Ecosse Property Holdings Pty Ltd v Gee Dee Nominees Pty Ltd* [2017] HCA 12; (2017) 261 CLR 544 – Appeal from the Supreme Court of Victoria.

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[FACTS: Westmelton (Vic) Pty Ltd leased farmland to Morris for a term of 99 years. The land was part of a larger parcel which, under local planning laws, could not be subdivided. Because the land could not be sold to Morris, the parties instead entered into a 99-year lease. Rent for the entire term was paid on signing and was equivalent to the market value of the land. The lease was based on a printed standard form "farm lease" with deletions and typewritten additions. Ecosse later purchased the freehold from Westmelton (and became the lessor) and Gee Dee took an assignment of the lease from Morris (and became the lessee). A dispute arose as to whether cl 4 of the lessee required the lessee to pay all "rates taxes assessments and outgoings" imposed in respect of the land or only those imposed on the lessee itself. Ecosse sought a declaration that the lessee was required to pay all such outgoings and was succeeded at first instance. The Court of Appeal by majority allowed an appeal. Ecosse appealed to the High Court. The main terms of the lease were as follows:

1. THE term of the tenancy hereby created shall be from the First day of November 1988 ~~to the day of~~
2. ~~THAT rent for the said term shall be at the clear rental of the first of the said payments to be made on the day of next. And the said Lessee covenants with the Lessor as follows:-~~
3. THAT the Lessee will pay the rent hereinbefore reserved on the days and in manner hereinbefore appointed for payment hereof. And in the event of the said term being determined by re-entry under the proviso hereinafter contained will pay to the Lessor a proportionate part of the said rent for the fraction of the current year up to the day of such re-entry.
4. AND also will pay all rates taxes assessments and outgoings whatsoever ~~excepting land tax~~ which during the said term shall be payable by the ~~Landlord or~~ tenant in respect of the said premises (~~but a proportionate part to be adjusted between Landlord and Tenant if the case so requires~~).
5. ~~AND also will at all times during the said term well and substantially repair maintain scour cleanse and keep in good repair and condition the said premises hereby demised and all fences walls gates hedges ditches drains water courses water holes and other improvements of or belonging to the said demised premises fair wear and damage by fire only excepted.~~
6. AND also will at his own cost and expense during the said term destroy and use his best endeavours to keep the said land free from rabbits and other vermin thistles and other noxious weeds and will comply with the *Vermin and Noxious Weeds Act* 1958 and any statutory amendments or re-enactments thereof for the time being respectively and without any notice or notices or order or orders to be served or made thereunder respectively.
7. AND also will not cut down fell ring-bark damage or destroy any timber or trees now or hereafter during the said term growing or standing on the said land except for fencing and domestic purposes.
8. ~~AND also will permit and power is hereby given to the Lessor or its agent with or without workmen or others twice or oftener in every year to enter into and upon the said demised premises or any part thereof to examine the condition thereof and the Lessee agrees to forthwith repair according to notice.~~
9. ~~AND also will not assign transfer sublet or otherwise part with possession of the said premises or any part thereof without on each occasion first obtaining the consent in writing of the Lessor.~~
10. AND also will at the expiration ~~or sooner determination~~ of the said term quit and deliver up possession of the said premises in good repair and condition and generally in such state and condition as shall be consistent with the due performance and observance of the foregoing covenants.
11. ~~AND also will use the said land and premises as a farm in a proper and husband like manner and subject to all usual terms covenants and agreements contained in a lease of a farm in addition to those specially contained herein.~~

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12. AND also will not commit any nuisance on the said land nor do nor suffer to be done anything that might prejudice any insurance of the said premises or any part thereof or render necessary the payment of any additional premium beyond the ordinary rate.
13. ~~AND also will cultivate of the said land during the currency of this Agreement.~~
13. *The parties acknowledge that it was the intention of the Lessor to sell and the Lessee to purchase the land and improvements hereby leased for the consideration of $70,000.00 and as a result thereof the parties have agreed to enter into this Lease for a term of ninety-nine years in respect of which the total rental thereof is the sum of $70,000.00 which sum is hereby acknowledged to have been paid in full.*
14. *Notwithstanding anything contained herein or any act of Parliament Federal or State Regulation or By-law whether as a result of any breach or default of the Lessee or otherwise the Lessor shall not have the power of earlier determination of this Lease or have any power of right of re-entry whatsoever thereby allowing the Lessee quiet and peaceful enjoyment of the land and improvements as aforesaid for the full term of this Lease, regardless of whether or not the Lessee is in breach or default herein.*
15. *The Lessee shall have the right to assign, transfer, sub-let or grant licences in respect of the premises without obtaining the consent of the Lessor.*
16. *The Lessee shall without obtaining the consent of the Lessor have the right to repair, rebuild or replace any dwellings, out-houses or other improvements or build further dwellings and out-houses upon the land whether for personal, commercial purposes or otherwise.*]

KIEFEL, BELL AND GORDON JJ: [6] On the appellant's case, cl 4 obliges the lessee to pay all rates, taxes, assessments and outgoings in respect of the land. On the respondent's case, cl 4 obliges the lessee to pay only those imposts that are levied on it in its capacity as the tenant, leaving the lessor liable to pay those imposts that may be levied on it as owner of the land. For the reasons to be given, the appellant's construction is to be preferred and it follows that the appeal must be allowed.

[7] The appellant's argument focuses on cl 13, which is said to identify the genesis and aim of the transaction between the original lessor and lessee (*Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337, 350 per Mason J). Adopting what was said by Kyrou JA, who dissented in the Court of Appeal (*Gee Dee Nominees Pty Ltd v Ecosse Property Holdings Pty Ltd* (2016) V ConvR ¶54-879), it is said that it was clearly the intention of the parties to recreate, as far as possible, in a lease, the conditions which would have obtained following a sale. On that approach, the position of the lessee under the lease would have more closely resembled that of a purchaser, upon whom liability for rates, taxes and other outgoings would fall.

[8] The respondent denies cl 13 the effect for which the appellant contends, observing that the clause does not contain a statement that it was the parties' intention to replicate the conditions of sale and purchase. The respondent points to other reasons for inclusion of cl 13: it was necessary to state the amount of the rent (a need created by the deletion of cl 2), and it was prudent to record that the sum had been paid in full. More generally, the respondent's submission, which found favour with the Court of Appeal majority, is that when the lease is read as a whole there is no warrant for treating cl 13 as an instruction as to its interpretation.

[9] It was not disputed in the Court of Appeal that cl 4, as settled by the parties, is ambiguous (at [92]) and argument in this Court proceeded upon that acceptance. And it was not disputed that in the circumstances it is open to the court to take account of the words crossed out of the standard form as an aid to the proper construction of the clause (*Postle v Sengstock* [1994] 2 Qd R 290, 298 per McPherson JA; *Esso Australia Ltd v Australian Petroleum Agents' & Distributors' Association* [1999] 3 VR 642, 647-648 [19] per Hayne J; *A Goninan & Co Ltd v Direct Engineering Services Pty Ltd [No 2]* (2008) 15 ANZ Insurance Cases ¶61-779, 76,946 [38]-[40]; and see Lewison and Hughes, *The Interpretation of Contracts in Australia* (2012) at 65-66; *Timber Shipping Co SA v London & Overseas Freighters Ltd* [1972] AC 1, 15-16 per Lord Reid; *Mottram Consultants Ltd v Bernard Sunley & Sons Ltd* [1975]

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2 Lloyd's Rep 197, 209). The deletions do not evidence a prior intent, which could have changed, but rather they identify a matter which, on the face of the document, was rejected by both parties (*Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337, 352-353 per Mason J).

[10] The respondent's argument draws on the structure and language of cl 4. The words "Landlord" and "tenant" in the unamended text are not found elsewhere in the lease. Their employment here is suggested to reflect the function of the clause in allocating liability for such enforceable obligations as arise independently of the lease to the lessor and lessee in their respective capacities as landlord and tenant.

[11] In the original form of cl 4, the words "AND also will pay", when read with cl 3, identified the party to whom the obligation applied. The words "all rates taxes assessments and outgoings whatsoever excepting land tax" identified the subject of the clause. The words "which during the said term shall be payable by the Landlord or tenant in respect of the said premises" identified the characteristics of the imposts to which the clause applied. The amendments are said by the respondent not to have altered the grammatical structure of the clause, which remains adjectival. The imposts to which the clause applies must have two characteristics: they must be "in respect of the said premises" and they must be "payable by the tenant". It is said the words "payable by the tenant", in their natural and ordinary sense, convey a liability which the tenant is under an enforceable obligation to pay, and which arises independently of the lease.

[12] The respondent's construction lays emphasis on the deletion of the words "Landlord or" as signifying the parties' intention that the lessee's obligation be confined to those imposts levied on it as tenant. The respondent also contends that, given the land formed part of a larger parcel, it is to be expected that the mechanism for apportionment contained in parentheses would have been retained had it been the parties' intention to make the lessee liable for the payment of all rates, taxes and other outgoings.

[13] The last-mentioned submission directs attention to the concluding words of the clause, "in respect of the said premises". The appellant observes that on the respondent's construction, these words are redundant: if the lessee's liability is confined to the payment of those imposts that are "payable by the tenant" they will necessarily be imposts "in respect of the said premises". The appellant's argument points to the retention of this phrase as a recognised means of conveying that the lessee's liability to pay land tax assessed on the whole of the lessor's landholdings is confined to the demised land (*Tooth & Co Ltd v Newcastle Developments Ltd* (1966) 116 CLR 167, 170-171; *Centrepoint Custodians Pty Ltd v Lidgerwood Investments Pty Ltd* [1990] VR 411; *112 Acland Street Pty Ltd v Australia and New Zealand Banking Group Ltd* (2002) 4 VR 372, 376 [13] per Ormiston and Phillips JJA; *Halsbury's Laws of England*, 5th ed, vol 62, par 424). On the appellant's construction, the words "payable by the tenant in respect of the said premises" reiterate the lessee's obligation, tying it to the leased premises. It is a construction which the appellant submits rendered the reference to the landlord and the mechanism for apportionment in parentheses in the standard form unnecessary and confusing.

[14] The choice to amend cl 4 by crossing out words in the printed text is apt to lessen the force of arguments that depend upon analysis of its grammatical structure. This standard form of farm lease imposed liability on the lessee for the payment of all imposts on the land, save for land tax. As amended, cl 4 reads:

> AND [the Lessee] also will pay all rates taxes assessments and outgoings whatsoever which during the said term shall be payable by the tenant in respect of the said premises.

[15] As each of the judges below rightly acknowledged, each of the constructions proposed by the parties is plausible. The determination of the proper construction is not advanced by observing that on the appellant's case the phrase "payable by the tenant" is redundant or that on the respondent's case the phrase "in respect of the said premises" is redundant. The amendments to the standard form of lease were poorly crafted. The only explanation for the deletion of the lessee's covenant to the lessor (in relation to all succeeding covenants) in cl 2 and for the retention of cl 3, which in light of the

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deletion of cl 2 is redundant, is inadvertence. In the circumstances it hardly assists the determination of the proper construction of cl 4 to observe that the effect for which the appellant contends might have been achieved economically by simply deleting the words "excepting land tax".

[16] It is well established that the terms of a commercial contract are to be understood objectively, by what a reasonable businessperson would have understood them to mean, rather than by reference to the subjectively stated intentions of the parties to the contract (*Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, 656 [35] and the cases at fn 58). In a practical sense, this requires that the reasonable businessperson be placed in the position of the parties. It is from that perspective that the court considers the circumstances surrounding the contract and the commercial purpose and objects to be achieved by it (*Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, 656-657 [35] and the cases at fn 60).

[17] Clause 4 is to be construed by reference to the commercial purpose sought to be achieved by the terms of the lease. It follows, as was pointed out in the joint judgment in *Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640, 656-657 [35], that the court is entitled to approach the task of construction of the clause on the basis that the parties intended to produce a commercial result, one which makes commercial sense. It goes without saying that this requires that the construction placed upon cl 4 be consistent with the commercial object of the agreement.

[18] Consideration of that object invites attention to cl 13. Clause 13 identifies the term of the lease and the amount of the total rental for that term and contains an acknowledgement that it has been paid in full. These statements form part of the operative terms of the lease. What is said at the commencement of cl 13 stands in a different position. It is an explanation of why the parties entered into a lease rather than a sale and purchase, which had been intended. Although expressed in the past tense it may be understood to convey that the circumstances leading to the lease remained unchanged at the time of its execution. Clause 13 explains that in circumstances in which the parties were unable to convey a freehold estate in the land, they had chosen instead to convey a leasehold estate for almost a century for a fixed sum. It is readily to be inferred that this was as close an approximation to their desired outcome as they thought they could arrange.

[19] Even without cl 13, the surrounding facts and circumstances which a reasonable businessperson in the position of the parties may be taken to have known would have pointed to that conclusion. Clause 13 itself does not explain how the parties' desire for a sale and purchase was thwarted, but it is a fact that it was the impossibility of subdivision of the land the subject of the lease. The length of the term, prepayment of a sum equivalent to the market value of the land, and the removal of the covenants restricting the lessee's user of and capacity to deal with the land (Clause 5, the lessee's covenant to keep the premises in good repair; cl 11, to use the land as a farm in a proper and husband like manner; and cl 13 in its original form, to cultivate the land; see also the addition of cl 16, the lessee's right to repair, rebuild or replace any dwellings or other improvements whether for personal, commercial purposes or otherwise; and cl 15, the lessee's right to assign, transfer, sub-let or grant licences without the consent of the lessor) and the lessor's rights of inspection (Clause 8) and termination for breach and re-entry (Clause 10, deletion of the words "or sooner determination"; see also the addition of cl 14), support the conclusion that the parties' intention was, as Kyrou JA stated it (at [29], [66]), to recreate, as far as possible, in a lease, the conditions which would have existed following a sale. The addition of the words "whatever purpose is allowable by law" to the chapeau also supports that conclusion. Clause 13 puts that conclusion beyond doubt.

…

[25] Notwithstanding that the consideration was the market value of the land, the lease does not provide an option to renew or to purchase for a nominal sum at the end of the term. The significance of this omission is suggested to favour the conclusion that the parties bargained for the lessor to bear the expense of any imposts levied on it as owner taking into account the value to the lessor of the reversion. An alternative view is the omission was inadvertent; neither the parties nor their advisers turning their minds to how matters might stand in 2087. Kyrou JA was drawn to that explanation

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(at [71]). So are we. A surrounding circumstance of which the reasonable businessperson would be aware is that the lessor company was in receivership. It must be accounted highly unlikely that a receiver would agree to burden the lessor company with uncertain financial obligations over the term of a ninety-nine year lease.

[26] The Court of Appeal majority's conclusion failed to give effect to the clear statement of the parties' objective in entering the agreement. It makes no commercial sense, having regard to that objective, for the lessor to remain liable for the payment of rates, taxes and other outgoings over the term of the lease. That is especially so where the lessor has taken as consideration for the lease the land value, with no provision for future adjustments. The lessor would have been exposed to uncertainties including the effect that any change of (lawful) land use by the lessee might have had on the amount of any rates, taxes and other outgoings.

[27] On its proper construction cl 4 imposes on the lessee the obligation to pay all rates, taxes, assessments and outgoings whatsoever that are payable during the term of the lease in respect of the land. This construction accords with the commercial aim of the parties that the lessee assume the position of owner, so far as a lease may provide, with all of an owner's liabilities.

GAGELER J: [51] Clause 4 can only be so construed for what it is: a clumsily tailored variation of an ill-fitting off-the-shelf precedent. To bring linguistic and grammatical precision to its construction would be to burden the clause with more weight than its jumble of words will bear.

[52] The competing constructions of cl 4 being open on its language, and the textual indications in favour of each being at best equivocal and at worst conjectural, the choice between them comes down to deciding which is more reasonable considered as a matter of "commercial efficacy or common sense" (*Gollin & Co Ltd v Karenlee Nominees Pty Ltd* (1983) 153 CLR 455, 464).

[Gageler J referred to various factors (including the length of the lease, the lack of any restriction on the lessee as to the use of the land or its ability to transfer or sublet, the fact that the lease resulted from an intended sale to Mr Morris and that its purpose was to replicate a sale, that if the land had been sold the lessor would obviously have had no responsibility for outgoings, that Westmelton had been under the control of a receiver at the time of the sale and would therefore have been unlikely to accept ongoing financial burdens) and concluded as follows.]

[57] Having regard to those considerations of commercial purpose and commercial context, I think that the view which makes the most commercial sense is that cl 4 was intended to place Westmelton, as Lessor, in a position in relation to rates, taxes, assessments and outgoings in respect of the land that was as near as possible to the position in which Westmelton would have stood as vendor had it sold and not leased the land to Mr Morris. On that basis, I consider that Ecosse's construction is preferable.

[In a dissenting judgment, NETTLE J agreed with the majority judges in the Court of Appeal below that cl 13 evidenced a past rather than a present intention to sell and purchase the land and did not evidence an intention to replicate a sale and purchase. Moreover, other clauses (cll 6, 7, 10 and 12) were consistent with a landlord and tenant relationship. As a matter of language, the natural and ordinary effect of the deletion of the words "excepting land tax" in cl 4 was to "reverse the exclusion" and subject the lessee to such land tax as was levied on the lessee, and the natural and ordinary effect of deleting the words "Landlord or" was to limit the lessee's liability to those rates and taxes for which the tenant becomes liable during the term. His honour concluded as follows.]

[98] Poor drafting may justify a court in being more ready to depart from the natural and ordinary meaning of the terms of a contract (*Arnold v Britton* [2015] AC 1619, 1628 [18] per Lord Neuberger of Abbotsbury PSC, with whom Lord Sumption and Lord Hughes JJSC agreed, Lord Hodge JSC agreeing at 1637 [66]), and no doubt, the poorer the drafting, the less willing a court should be to be "driven by semantic niceties to attribute to the parties an improbable and unbusinesslike intention" (*Mitsui Construction Co Ltd v Attorney General of Hong Kong* (1986) 33 BLR 1 at 14, cited with approval in *Gan Insurance Co Ltd v Tai Ping Insurance Co Ltd (No 2)* [2001] 2 All ER (Comm) 299, 306 [13] per Mance LJ). But poor drafting provides "no reason to depart from the

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fundamental rule of construction of contractual documents that the intention of the parties must be ascertained from the language they have used interpreted in the light of the relevant factual situation in which the contract was made" (*Mitsui Construction* (1986) 33 BLR 1, 14. See also *Rainy Sky SA v Kookmin Bank* [2011] 1 WLR 2900, 2910 [26] per Lord Clarke of Stone-cum-Ebony JSC, with whom Lord Phillips of Worth Matravers PSC, Lord Mance, Lord Kerr of Tonaghmore and Lord Wilson JJSC agreed; [2012] 1 All ER 1137, 1147-1148). Where there is ambiguity which permits of two alternative and semantically not improbable interpretations, construction in accordance with what it may be supposed would be the approach of honest and reasonable businesspersons may assist in choosing one such alternative over the other. But where, as here, the language and surrounding circumstances of a commercial contract present a choice between, on the one hand, a plain, ordinary and commercially not irrational meaning of a clause and, on the other, a meaning which is significantly removed from the natural and ordinary meaning of the terms of the clause, which ill-accords with other provisions of the agreement, and which in the end produces an outcome that is more commercially acceptable from one of the parties' point of view only, the precept runs out of application. Unless the Anglo-Australian objective theory of contract is now to be cast aside, the commercial approach to construction (*Cohen & Co v Ockerby & Co Ltd* (1917) 24 CLR 288, 300 per Isaacs J; *Upper Hunter County District Council v Australian Chilling and Freezing Co Ltd* (1968) 118 CLR 429, 437 per Barwick CJ. Cf *Mannai Investment Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] AC 749, 770-771 per Lord Steyn; *Society of Lloyd's v Robinson* [1999] 1 WLR 756, 763 per Lord Steyn (the other Law Lords agreeing at 758, 767-768) is not a licence to alter the meaning of a term that is "clear and fairly susceptible of one meaning only" to achieve a result that the court may think to be reasonable (*Photo Production Ltd v Securicor Transport Ltd* [1980] AC 827 at 851 per Lord Diplock. See also *Arnold v Britton* [2015] AC 1619, 1628 [18] per Lord Neuberger PSC, with whom Lord Sumption and Lord Hughes JJSC agreed, Lord Hodge JSC agreeing at 1637 [66]). The court is not authorised under the guise of construction to make a new contract for the parties at odds with the contract to which they have agreed (*Johnson v American Home Assurance Co* (1998) 192 CLR 266, 272 [19] per Kirby J; *Charter Reinsurance* [1997] AC 313, 388 per Lord Mustill, Lords Goff, Griffiths and Browne-Wilkinson agreeing at 381). Where, as here, all things considered, the words of a clause are fairly susceptible of only one meaning, they must be given that effect.

Appeal allowed.

Exclusion clauses

[13.40] Greig and Davis, in *The Law of Contract* (1987), p 597, define an exclusion or exemption clause as follows: a term of a contract that attempts either:

(i) to modify the principal obligation(s) arising under a contract of that particular type; or

(ii) to limit or exclude the liability of a party which would otherwise arise as a result of a breach by that party of his primary obligations to perform the contract in accordance with its terms.

Legislative restrictions on exclusion clauses

[13.45] In considering whether an exclusion or limitation clause is effective, a number of issues must be considered. In some cases, the clause may be void under statute. See the ACL and, in particular, Pts 2-3 (Unfair Contract Terms) and 3-2 (Consumer Guarantees).

The common law approach to exclusion clauses

[13.50] In some cases, there may be an issue as to whether a "third party" can claim the benefit of an exemption clause in a contract made by two other parties: see *Port Jackson Stevedoring*

Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (*The "New York Star"*) (1978) 139 CLR 231; (1980) 144 CLR 300, extracted at [11.35]. More generally, before a party can rely on the protection of an exclusion clause, it must be shown that the clause was incorporated into the contract, see Chapter 12. If the clause is incorporated, it must be asked whether, as a matter of construction, the clause applies to exclude or restrict liability in relation to the issue in dispute. An overly broad exclusion clause may even be found to empty a contract of all content: see the judgment of Barwick CJ in *MacRobertson Miler Airline Services v Commissioner of State Taxation (WA)* (1975) 133 CLR 125, extracted at [3.35].

Does the clause apply to the issue in dispute?

[13.55] In *Darlington Futures Ltd v Delco Aust Pty Ltd* (1986) 161 CLR 500, the High Court discusses the proper approach to be taken in construing an exclusion clause.

Darlington Futures v Delco Aust

[13.60] *Darlington Futures Ltd v Delco Aust Pty Ltd* (1986) 161 CLR 500 (High Court of Australia) – Appeal from the Supreme Court of South Australia.

[FACTS: Darlington Futures Ltd, the *appellant*, a broker dealing on the commodity futures market, entered into a written contract dated 12 June 1981 with Delco Australia Pty Ltd, the *respondent*. The respondent instructed the appellant to engage in day trading. Day trading leaves the investor exposed to the market for one day in the hope of making profits. Market fluctuations within one day are limited so that losses are confined. Without the authority of the respondent, the appellant left the futures contracts being traded open for a longer period than one day and heavy losses were sustained. The respondent sued to recover $279,715.36 damages from the appellant, claiming that this was the amount of the losses it sustained on contracts as a result of the appellant's breach of duty in trading in futures contracts without the respondent's authority. The appellant relied on the following exclusion clauses in the contract between the parties:

6. … The Client [the respondent] … acknowledges that the Agent [the appellant] will not be responsible for any loss should the Client follow any of the Agent's trading recommendations or suggestions, nor for any loss, in the case of Discretionary Accounts, arising from trading by the Agent on behalf of the Client. The Client finally acknowledges that the Agent will not be responsible for any loss arising in any way out of any trading activity undertaken on behalf of the Client whether pursuant to this Agreement or not …

7. (c) Any liability on the Agent's part or on the part of its servants or agents for damages for or in respect of any claim arising out of or in connection with the relationship established by this agreement or any conduct under it or any orders or instructions given to the Agent by the Client, other than any liability which is totally excluded by paragraphs (a) and (b) hereof, shall not in any event (and whether or not such liability results from or involves negligence) exceed one hundred dollars.

The trial judge found in favour of the appellant. The respondent appealed to the Full Court, which allowed the appeal. The appellant appealed by special leave to the High Court.]

MASON, WILSON, BRENNAN, DEANE AND DAWSON JJ: [507] [The judges agreed with the finding in the lower courts that the appellant had acted beyond the scope of the authority given to it by the respondent.] The question then is whether cl 6 protects the appellant from the consequences of what otherwise would be breaches of contract. Mr Bennett relies on statements in recent decisions of the House of Lords to support the approach that exclusion clauses should be simply construed in accordance with their language and that they should not be subjected to a strained construction in order to reduce the ambit of their operation. These statements have been made in a series of cases beginning with *Photo Production Ltd v Securicor Ltd* [1980] AC 827 in which the House of Lords rejected the doctrine of fundamental breach previously adopted in *Suisse Atlantique*

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Societe d'Armement Maritime SA v NV Rotterdamsche Kolen Centrale [1967] 1 AC 361. In place of that doctrine their Lordships have stated that, although an ambiguous exclusion clause will be construed contra proferentem, such a clause is to be given its natural construction. So, in *Photo Production*, a case decided on a contract entered into before the *Unfair Contract Terms Act 1977* (UK) came into operation, Lord Diplock, observing that the court was not [508] entitled to reject the exclusion clause "however unreasonable the court itself may think it is, if the words are clear and fairly susceptible of one meaning only", said [1980] AC, at 851:

> In commercial contracts negotiated between business-men capable of looking after their own interests and of deciding how risks inherent in the performance of various kinds of contract can be most economically borne (generally by insurance), it is, in my view, wrong to place a strained construction upon words in an exclusion clause which are clear and fairly susceptible of one meaning only even after due allowance has been made for the presumption in favour of the implied primary and secondary obligations.

This approach to the construction of exclusion clauses was subsequently reiterated in *Ailsa Craig Fishing Co Ltd v Malvern Fishing Co Ltd* [1983] 1 WLR 964; [1983] 1 All ER 101 where a distinction was drawn between exclusion and limitation clauses. Lord Fraser of Tullybelton, with whom Lord Elwyn-Jones, Lord Salmon and Lord Lowry concurred, observed that the principles applicable to exclusion clauses do not apply "in their full rigour" to conditions which merely limit liability, though such conditions will be read contra proferentem: [1983] 1 WLR 964, 970. This distinction in the treatment of the two types of clause was subsequently endorsed in *George Mitchell (Chesterhall) Ltd v Finney Lock Seeds Ltd* [1983] 2 AC 803, 813-814. There the House of Lords concluded that the conditions of a contract for the sale of late cabbage seed limited the liability of the seller to a refund of the price paid or replacement of the seeds and that the ambit of the conditions could not be confined to breaches of contract arising without negligence on the part of the seller. The condition, read as a whole, unambiguously limited the seller's liability to replacement of the seeds or refund of the price. Their Lordships declined to read an ambiguity into it by the process of strained construction deprecated by Lord Diplock in *Photo Production* [1980] AC 827, 851 and subsequently by Lord Wilberforce in *Ailsa Craig* [1983] 1 WLR 964, 966. However, the House of Lords held that the limiting condition was unenforceable on the ground that it would not be "fair or reasonable" [1983] 2 AC, at 815 within the meaning of s 55(4) as modified by Sched 1, par 11 of the *Sale of Goods Act 1979* (UK) to allow reliance on the condition. This aspect of the decision has no relevance to the present case.

Although these three decisions contain statements giving emphasis [509] to the natural meaning of the words of exclusion and limitation clauses read as a whole, we do not understand the statements to deny the legitimacy, indeed the necessity, of construing the language of such a clause in the context of the entire contract of which it forms part. The formulation by the House of Lords of a new approach to the construction of exclusion and limitation clauses in place of the earlier approach based on the doctrine of fundamental breach explains why the emphasis in these statements is upon the language of the particular clauses rather than upon the context in which they appear.

Be this as it may, this Court has in past decisions authoritatively stated the approach to be adopted in Australia to the construction of exclusion and limitation clauses, without relying on the doctrine of fundamental breach. In *Sydney Corporation v West* (1965) 114 CLR 481, 488 … Barwick CJ and Taylor J said:

> … in the case where a contract of bailment contains an exempting clause much as we have to consider the protection afforded by the clause will be lost if the goods the subject of the bailment are stored in a place or in a manner other than that authorized by the contract or if the bailee consumes or destroys them instead of storing them or if he sells them.

Their Honours then made it clear that they reached this result by a process of construction of the contract and not by applying the doctrine of fundamental breach. Their Honours continued (26):

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> But we would deny the application of such a clause in those circumstances simply upon the interpretation of the clause itself. Such a clause contemplates that loss or damage may occur by reason of negligence on the part of the warehouseman [510] or his servants in carrying out the obligations created by the contract. But in our view it has no application to negligence in relation to acts done with respect to a bailor's goods which are neither authorized nor permitted by the contract …. Negligence in these circumstances would be right outside the purview of the clause.

Windeyer J reached the same conclusion as a matter of interpretation of the contract.

Subsequently in *Thomas National Transport (Melbourne) Pty Ltd v May & Baker (Australia) Pty Ltd* (1966) 115 CLR 353, Windeyer J, though dissenting in result, stated that the effect of an exclusion clause must be "resolved by construing the language that the parties used, read in its context and with any necessary implications based upon their presumed intention" (1966) 115 CLR, at 376. And later, in *H&E Van Der Sterren v Cibernetics (Holdings) Pty Ltd* (1970) 44 ALJR 157, at 158, Walsh J, with whom Barwick CJ and Kato J agreed, said:

> The terms of exception clauses must sometimes be read down if they cannot be applied literally without creating an absurdity or defeating the main object of the contract …. But such a modification by implication of the language which the parties have used in an exception clause is not to be made unless it is necessary to give effect to what the parties must be understood to have intended.

See also *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd* (1978) 139 CLR 231, at 238.

These decisions clearly establish that the interpretation of an exclusion clause is to be determined by construing the clause according to its natural and ordinary meaning, read in the light of the contract as a whole, thereby giving due weight to the context in which the clause appears including the nature and object of the contract, and, where appropriate, construing the clause contra proferentem in case of ambiguity. Notwithstanding the comments of Lord Fraser in *Ailsa Craig* [1983] 1 WLR 964, 970, the same principle applies to the construction of limitation clauses. As King CJ noted in his judgment in the Supreme Court, a limitation clause may be so severe in its operation as to make its effect virtually indistinguishable from that of an exclusion clause. And the principle, in the form in which we have expressed it, does no more than express the general approach to the interpretation of contracts and it is of sufficient generality to accommodate the different considerations that may arise in the interpretation of a wide variety of exclusion and [511] limitation clauses in formal commercial contracts between business people where no question of the reasonableness or fairness of the clause arises.

Turning now to cl 6 of the contract between the appellant and the respondent, the question is whether the relevant losses arose "in any way out of any trading activity undertaken on behalf of the Client whether pursuant to this agreement or not". Read in context these words plainly refer to trading activity undertaken by the appellant for the respondent with the respondent's authority, whether pursuant to the agreement or not. It can scarcely be supposed that the parties intended to exclude liability on the part of the appellant for losses arising from trading activity in which it presumed to engage on behalf of the respondent when the appellant had no authority so to do.

The final question is whether the appellant is protected by cl 7(c) of the contract. This provision limits the liability of the appellant to $100 in relation to claims of three kinds:

(1) claims arising out of or in connexion with the relationship established by the agreement;

(2) claims arising out of or in connexion with any conduct under the agreement; and

(3) claims arising out of or in connexion with any orders or instructions given by the client to the broker.

The Full Court of the Supreme Court considered that cl 7(c) by its terms had no application to claims arising out of conduct which is outside the scope of the agreement and the relationship between

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the parties established by it. This, in our opinion, is to place a more restrictive interpretation on the clause than its language will naturally bear. In particular, it is expressed to comprehend claims arising out of or in connexion with the relationship established by the agreement. A claim in respect of an unauthorized transaction may nonetheless have a connexion, indeed a substantial connexion, with the relationship of broker and client established by the agreement. We are unable to discern any basis on which cl 7(c) can be construed so as not to apply to such a claim. The present case is one in which the respondent's claim arises in connexion with the relationship of broker and client established by the contract between the parties, notwithstanding the finding that the relevant transactions were not authorized.

In the result cl 7(c) operates to limit the appellant's liability to $100 in respect of each of the unauthorized coffee and silver contracts.

Appeal allowed.

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PART VI

CHAPTER ***14***

Implied terms

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WHEN WILL TERMS BE IMPLIED?

[14.05] Contract terms cannot deal comprehensively with every contingency that may affect performance. The common law recognises three main classes of terms which may be implied to fill gaps and deal with matters not addressed by the express contract terms: terms implied in fact (to give business efficacy to a particular contract or make it workable); terms implied in law (as a necessary incident of all contracts falling within a particular class); and terms implied by custom or trade usage. Terms are also in some instances implied by statute. The Sale of Goods Acts, for example, implies various conditions and warranties in contracts for the sale of goods, such as an implied condition that the seller has the right to sell the goods. See also the discussion of the consumer guarantees imposed under the *Australian Consumer Law* in Chapter 17.

TERMS IMPLIED IN FACT

[14.10] Terms implied in fact are traditionally said to be based on the "presumed" intentions of the parties concerned and accordingly are unique to the contract in question.

The *BP Refinery* criteria

[14.15] In *BP Refinery (Westernport) Pty Ltd v Shire of Hastings* (1977) 180 CLR 266, Lord Simon identified the requirements for implication in fact as follows:

for a term to be implied, the following conditions (which may overlap) must be satisfied: (1) it must be reasonable and equitable; (2) it must be necessary to give business efficacy to the contract so that no term will be implied if the contract is effective without it; (3) it must be so obvious that "it goes without saying"; (4) it must be capable of clear expression; (5) it must not contradict any express term of the contract.

Byrne v Australian Airlines

[14.20] *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: The *appellants* were employed by the *respondent* as baggage handlers at Sydney Airport. They were dismissed from their employment for pilfering. They sought relief claiming that their dismissal was in breach of cl 11(a) of the Transit Workers (Airlines) Award 1988. That clause provided that termination of employment by an employer should not be harsh, unjust or unreasonable. The appellants each sought damages for breach of statutory duty and for breach of contract.

The trial judge found that the respondent's conduct in terminating the appellants' employment was not harsh, unjust or unreasonable. On appeal, the Full Court of the Federal Court found to the contrary. The requirement that termination not be harsh, unjust or unreasonable carried an obligation on the part of the respondent to afford the appellants procedural fairness. However, the Full Court held that the appellants were not entitled to damages for breach of contract or breach of statutory duty.

The appellants appealed to the High Court against the Full Court of the Federal Court's rejection of their claim for damages. They submitted that cl 11(a) became a term of their contract because: it was imported into their contracts of employment by force of the award; it was an implied term; or it embodied a "crystallised custom" of the industry. The appellants alternatively claimed that the purported terminations of their contracts were illegal and void because they were in breach of cl 11(a). The appellants argued that they were entitled to treat this conduct as a repudiation of their contracts and to sue for damages. The following extracts deal with the arguments about implied terms.]

BRENNAN CJ, DAWSON AND TOOHEY JJ: [421] In a system of industrial regulation where some, but not all, of the incidents of an employment relationship are determined by award, it is plainly unnecessary that the contract of employment should provide for those matters already covered by the award. The contract may provide additional benefits, but cannot derogate from the terms and conditions imposed by the award … and, as we have said, the award operates with statutory force to secure those terms and conditions. Neither from the point of view of the employer nor the employee is there any need to convert those statutory rights and obligations to contractual rights and obligations. There is, therefore, an insuperable obstacle in the way of the appellants' second argument that the terms [422] of an award such as cl 11(a) are implied terms of the contract of employment.

McHUGH AND GUMMOW JJ:

Business efficacy

[441] We turn now to consider the submission that cl 11(a) was implied as a term from the particular circumstances of the case and to give effect to some apparent underlying intention of the parties about providing business efficacy. Reliance here was placed upon the well-known statement of the Privy Council in *BP Refinery (Westernport) Pty Ltd v Shire of Hastings* (1977) 180 CLR 266 at 283. This has been approved and applied in numerous decisions in this Court. … The Privy Council specified five conditions which, whilst they might overlap, must be satisfied before a court may imply a term in a contract which the parties had not thought fit to express. First, the term must be "reasonable and equitable"; secondly, it must be necessary to give "business efficacy to the contract" so that no term will be implied if the contract is effective without it; thirdly, the term must be so obvious that "it goes without saying"; fourthly, it must be "capable of clear expression"; and, finally, it must not contradict any express term.

In BP itself and in other cases such as *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596, *Codelfa* [442] *Construction Pty Ltd v State Rail Authority (NSW)*

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(1982) 149 CLR 337 and *Adelaide City Corporation v Jennings Industries Ltd* (1985) 156 CLR 274, the question was whether a term should be implied in a formal written contract which was complete upon its face.

That is not the present case. We have referred to the exiguous nature of the evidence as to the form taken by, and the express terms of, the contract of employment between the respondent and the appellants. There are two consequences.

First, this species of implication is concerned with the circumstances of the particular case. The primary judge and Black CJ and Gray J in the Full Court referred to the need to prove facts leading to the implication of a term of this nature. Gray J said (*Byrne* (1994) 47 FCR 300 at 361):

> [T]his Full Court does not know what all of the express terms of the contracts were. It does not know whether they were adequate to make the contracts of employment efficacious or whether any of them would contradict the proposed implied term. An examination of the facts surrounding the creation of each contract of employment might lead to a different result for one appellant from the other.

Secondly, where the contract is not in writing and is oral or partly oral or it appears that the parties themselves did not reduce their agreement to a complete written form, caution is required against an automatic or rigid application of the cumulative criteria identified in *BP*. We should proceed on the footing that the present case is to be approached in this way. In such situations, the first task is to consider the evidence and find the relevant express terms. Some terms may be inferred from the evidence of a course of dealing between the parties. It may be apparent that the parties have not spelled out all the terms of their contract, but have left some or most of them to be inferred or implied. Some terms may be implied by established custom or usage, as described above. Other terms may satisfy the criterion of being so obvious that they go without saying, in the sense that if the subject had been raised the parties to the contract would have replied "of course" (*Hospital Products Ltd v United States Surgical Corporation* (1984) 156 CLR 41 at 121). If the contract has not been reduced to complete written form, the question is whether the implication of the particular term is necessary for the reasonable or effective operation of the contract in the circumstances of the case; only where this can be seen to be true will the term be implied (*Hawkins v Clayton* (1988) 164 CLR 539 at 573).

The contractual term propounded by the appellants would operate in a partisan fashion. It would favour the interests of the employee at the [443] expense of those of the employer. Further, in the operation sought to be given the term by the appellants, so as to require procedural regularity or fairness, the term also would qualify what otherwise has been understood to be the general law of the employment contract.

It is true that, in this country, what one might call the overall relationship between employer and employee includes the effect which by statute must be given to a relevant award made under the federal or a State system ….

There is no reason why an employee might not be engaged upon terms and conditions including some or all of the terms of an award [444] under the legislation …. But these considerations do not, as a matter of imputed intention of the parties to a particular employment contract, render it any more likely that the importation into the contract of a provision such as cl 11(a) of the Award was so obvious that it went without saying, or that it was necessary for the reasonable or effective operation of the contract …. Clause 11(a) is not a free-standing provision in the Award. It is an integral part of a regime which, at the same time, establishes a norm by which an unfair dismissal is to be assessed, and provides for the resolution of disputes as to such dismissals and for the enforcement of the Award by the recovery of penalties. Why should cl 11(a) be severed from that context and given a further and distinct operation as a contractual term? …

[446] In the present case, Beaumont and Heerey JJ (*Byrne* (1994) 47 FCR 300 at 343) dealt with this particular question of implication by saying that, whilst the employee might have agreed that the terms of cl 11(a) be expressly included in the contract of employment, the employer in all probability

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would be of the contrary view. There is much to be said for their Honours' hypothesis that the employer would indicate that, whilst bound by the terms of the Award and so subject to the penalties prescribed by the legislation for breach, it would not accept cl 11(a) as a term of the contract. In the event of breach, the employer would be liable not only to the penalty but also to pay damages in contract.

In contracts of this nature, apparently lacking written formality and detailed specificity, it still is necessary to show that the term in question would have been accepted by the contracting parties as a matter so obvious that it would go without saying. That cannot be postulated here.

Nor could it be said that the implication into the contract of employment of a term to the effect of cl 11(a) of the Award would be necessary for their reasonable or effective operation. In the absence of such a contractual provision, there would remain unaffected the entitlement of the employer at general law to terminate at will on giving reasonable notice and to dismiss summarily for misconduct. That this would be the case was accepted in the submissions of both sides to this Court. Thus, there would be no "gap" which it was necessary to fill by a provision such as cl 11(a).

Accordingly, we accept the submissions for the respondent that the term for which the appellants contend is not to be implied as a matter of business efficacy in its contracts of employment with the appellants. [447]

Implications independent of intention

The two species of term considered above, if indeed they be distinct, are concerned with giving effect to what is taken to have been the intentions of the parties. The expression "implied term" suggests imposition in the way in which statutes such as the *Trade Practices Act 1974* (Cth), eg ss 66–74, imply conditions or warranties in contracts of a particular description, which may not be excluded or modified. The sense of the matter would have been better served by general adoption of the expression – apparently coined by Sir John Salmond (Salmond and Winfield, *Principles of the Law of Contracts* (1927), p 47) and used by Dixon J (*Shepherd v Felt & Textiles of Australia Ltd* (1931) 45 CLR 359 at 378) – "tacit term" to identify the latent unexpressed intentions of the parties.

The third type of term upon which the appellants rely is of a different nature … What, then, is involved in the proposition that a contractual term is [448] implied as a matter of law rather than as the assumed intention of the parties?

There is at least one basic distinction. It is that, as indicated above, terms implied by the application of what one might call the business efficacy test are terms unique to the particular contract in question, depending upon the form of the contract, the express terms and the surrounding circumstances. By contrast, terms implied by law are, in general, implied in all contracts of a particular class or which answer a given description (*Esso Australia Resources Ltd v Plowman* (1995) 183 CLR 10 at 30).

Further, as Hope JA pointed out in *Castlemaine Tooheys Ltd v Carlton & United Breweries Ltd* (1987) 10 NSWLR 468 at 487:

> Although the distinction between the two classes of implication has not been and perhaps is still not universally appreciated, classes of contract in respect of which terms will be implied by law, and the terms which will be implied, have in many cases been long established. Typical classes are contracts between master and servant, for the sale of goods, for the provision of work and materials and between landlord and tenant ([a] more detailed description was given by Professor Glanville Williams in his article "Language and the Law", which was published in four parts: *Law Quarterly Review*, vol 61 (1945) 71, 179, 283, 384, at p 403). However, the classes of contracts in which the law will imply terms are not closed; the difficult question is to determine what test should be applied before the courts imply such a term for the first time.

… [149] There is force in the suggestion that what now would be classified as terms implied by law in particular classes of case had their origin as implications based on the intention of the parties, but thereafter became so much a part of the common understanding as to be imported into all

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transactions of the particular description. The matter is put as follows in *Halsbury* (*Halsbury's Laws of England*, 4th ed (1974) vol 9, par 354, fn 27):

> Perhaps the truth is that the ambiguous terminology enables the courts in the first instance to imply terms on the basis of the intention of the parties … but later there comes a time when the particular implied term has become so much a part of common practice that the courts begin to import it into all transactions of that type as a matter of course; and the result is a rule of law of the type considered in this paragraph.

This understanding of the matter is consistent with the proposition that terms of this kind, although treated as implied by law, may be excluded by express provision made by the parties and also as a result of inconsistency with terms of the contract (*Castlemaine Tooheys* (1987) 10 NSWLR 468 at 490–3; *Devefi Pty Ltd v Mateffy Pearl Nagy Pty Ltd* (1993) 113 ALR 225 at 240–1; Glanville Williams, "Language and the Law", *Law Quarterly Review*, vol 61 (1945) 71, 179, 283, 384 at p 404 …). The result is that, [450] even if treated as rules of law, they only apply in the absence of an expression of contrary intent ….

Many of the terms now said to be implied by law in various categories of case reflect the concern of the courts that, unless such a term be implied, the enjoyment of the rights conferred by the contract would or could be rendered nugatory, worthless, or, perhaps, be seriously undermined (*Nullagine Investments Pty Ltd v Western Australian Club Inc* (1993) 177 CLR 635 at 647–8, 659). Hence, the reference in the decisions to "necessity". For example, it is established that the mere relationship of landlord and tenant implies a covenant for quiet enjoyment. The reason for this appears to be that, originally, the common law courts would not recognise the tenant as having any estate in the demised land and would not reinstate the tenant if elected by the landlord; the remedy in covenant remedied the position of the tenant who otherwise, if ejected, would have been without recourse (Norton, *Treatise on Deeds*, 2nd ed (1928), p 547, where the authorities are collected). This notion of "necessity" has been crucial in the modern cases in which the courts have implied for the first time a new term as a matter of law.

Codelfa establishes that the doctrine of frustration is concerned with [451] the termination of the contract by operation of law in particular circumstances, rather than by the operation of an implied condition. In the course of dealing with implied terms, Mason J stated (*Codelfa* (1982) 149 CLR 337 at 345):

> Of course, I am speaking of an implied term necessary to give business efficacy to a particular contract, not of the implied term which is a legal incident of a particular class of contract, of which *Liverpool City Council v Irwin* [1977] AC 239 is an example. The difference between the two categories of implied term was mentioned by Viscount Simonds in *Lister v Romford Ice & Cold Storage Co Ltd* [1957] AC 555 at 576, where he referred to the search for the second category of implied term as being based "upon more general considerations", a comment endorsed by Lord Wilberforce in [1977] AC 239 at 255.

In *Liverpool City Council v Irwin*, the House of Lords considered the obligations to its tenants of the lessor of a fifteen-storey tower block. The lessor was a public body charged by statute with the duty of providing housing for members of the public, selected because of their need, at rents subsidised by the general body of ratepayers. The matter was approached by identifying the rights conferred upon the tenants and then considering that activity by the lessor which would be necessary to avoid the impairment of the essentials of the grant to the tenant. Lord Wilberforce said ([1977] AC 239 at 254):

> In my opinion such obligations should be read into the contract as the nature of the contract itself implicitly requires, no more, no less: a test, in other words, of necessity. The relationship accepted by the corporation is that of landlord and tenant: the tenant accepts obligations accordingly, in relation inter alia to the stairs, the lifts and the chutes. All these are not just facilities, or conveniences provided at discretion: they are essentials of the tenancy without which life in the dwellings, as a tenant, is not possible. To leave the landlord free of contractual

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> obligation as regards these matters, and subject only to administrative or political pressure, is, in my opinion, inconsistent totally with the nature of this relationship. The subject matter of the lease (high rise blocks) and the relationship created by the tenancy demand, of their nature, some contractual obligation on the landlord.

A similar approach subsequently was taken by the House of Lords in *Scally v Southern Health and Social Services Board* [1992] 1 AC 294. (See also the Privy Council decision in *Tai Hing Cotton Mill Ltd v Liu Chong Hing Bank* [1986] AC 80 at 104–7, dealing with the contract between banker and customer.) In this [452] case, the appellants were medical practitioners whose terms of employment with Northern Ireland health boards had been negotiated by representatives of their professional bodies. They brought actions against their employers alleging, among other things, breach of contract in respect of failure of their employers to inform them of certain rights which they had enjoyed but which had been exercisable only within a particular period. Lord Bridge of Harwich ([1992] 1 AC 294 at 304) identified the issue as follows:

> The problem is a novel one which could not arise in the classical contractual situation in which all the contractual terms, having been agreed between the parties, must, ex hypothesi, have been known to both parties. But in the modern world it is increasingly common for individuals to enter into contracts, particularly contracts of employment, on complex terms which have been settled in the course of negotiations between representative bodies or organisations and many details of which the individual employee cannot be expected to know unless they are drawn to his attention. The instant case presents an example of this phenomenon arising in the context of the statutory provisions which regulate the operation of the health services in Northern Ireland.

The question was whether the law would imply into the contract of employment an obligation on the employer to notify the employees of the rights in question. Was the term a "necessary incident of a definable category of contractual relationship"? The House posed this question and answered it in the affirmative (at 307). Their Lordships held that, where a contract of employment, negotiated between employers and a representative body, contained a particular term conferring upon the employee a valuable right contingent upon his or her acting as required to obtain the benefit, of which the employee could not be expected to be aware unless the term was brought to the attention of the employee, there was an implied obligation on the employer to take reasonable steps to publicise the term. In the present appeal, the appellants relied upon this concept of necessity. Their submission was that employment contracts were a well-recognised "class" of contract. That was conceded by the respondent. So also was the proposition that the law imported various incidents into the relationship of employment, one of them being the entitlement of the employer to terminate the employment at will on giving reasonable notice and to dismiss summarily for misconduct. It was then submitted that the existence of the Award, and in particular cl 11(a), "required" reformulation of that incident of the relationship by importing, in terms, the provisions of cl 11(a).

However, there is no "necessity" for such a step in the sense in [453] which that term was applied in cases such as *Irwin* and *Scally*. The contract of employment is not, from the viewpoint of the employee, rendered nugatory if the existing provisions thereof remain, as a matter of contract, to operate concurrently with the regime established by the Award and deriving its authority from statute.

There is nothing to suggest that the contracts of employment were not workable and effective before the introduction into awards of provisions such as cl 11(a). This is not a case where a provision such as cl 11(a) is necessary lest the contract be deprived of its substance, seriously undermined or drastically devalued in an important respect.

Appeal dismissed.

[The High Court granted the respondent special leave to cross appeal against the finding in the Federal Court that the dismissals of the appellants were unreasonable.]

[14.35] **Notes**

In *Attorney General of Belize v Belize Telecom Ltd* [2009] UKPC 10; [2009] 1 WLR 1988, the Privy Council doubted the efficacy of relying on formal tests for implying a term. Delivering the judgment of the Board, Lord Hoffmann said:

> [21] It follows that in every case in which it is said that some provision ought to be implied in an instrument, the question for the court is whether such a provision would spell out in express words what the instrument, read against the relevant background, would reasonably be understood to mean. It will be noticed from Lord Pearson's speech that this question can be reformulated in various ways which a court may find helpful in providing an answer – the implied term must "go without saying", it must be "necessary to give business efficacy to the contract" and so on – but these are not in the Board's opinion to be treated as different or additional tests. There is only one question: is that what the instrument, read as a whole against the relevant background, would reasonably be understood to mean?
>
> [22] There are dangers in treating these alternative formulations of the question as if they had a life of their own. Take, for example, the question of whether the implied term is "necessary to give business efficacy" to the contract. That formulation serves to underline two important points. The first, conveyed by the use of the word "business", is that in considering what the instrument would have meant to a reasonable person who had knowledge of the relevant background, one assumes the notional reader will take into account the practical consequences of deciding that it means one thing or the other. In the case of an instrument such as a commercial contract, he will consider whether a different construction would frustrate the apparent business purpose of the parties. That was the basis upon which *Equitable Life Assurance Society v Hyman* [2002] 1 AC 408 was decided. The second, conveyed by the use of the word "necessary", is that it is not enough for a court to consider that the implied term expresses what it would have been reasonable for the parties to agree to. It must be satisfied that it is what the contract actually means.
>
> [23] The danger lies, however, in detaching the phrase "necessary to give business efficacy" from the basic process of construction of the instrument. It is frequently the case that a contract may work perfectly well in the sense that both parties can perform their express obligations, but the consequences would contradict what a reasonable person would understand the contract to mean. Lord Steyn made this point in the *Equitable Life* case (at p 459) when he said that in that case an implication was necessary "to give effect to the reasonable expectations of the parties".
>
> [24] The same point had been made many years earlier by Bowen LJ in his well known formulation in *The Moorcock* (1889) 14 PD 64, 68:
>
> In business transactions such as this, what the law desires to effect by the implication is to give such business efficacy to the transaction as must have been intended at all events by both parties who are business men.
>
> [25] Likewise, the requirement that the implied term must "go without saying" is no more than another way of saying that, although the instrument does not expressly say so, that is what a reasonable person would understand it to mean. Any attempt to make more of this requirement runs the risk of diverting attention from the objectivity which informs the whole process of construction into speculation about what the actual parties to the contract or authors (or supposed authors) of the instrument would have thought about the proposed implication. The imaginary conversation with an officious bystander in *Shirlaw v Southern Foundries (1926) Ltd* [1939] 2 KB 206, 227 is celebrated throughout the common law world. Like the phrase "necessary to give business efficacy", it vividly emphasises the need for the court to be satisfied that the proposed implication spells out what the contract would reasonably be understood to mean. But it carries

the danger of barren argument over how the actual parties would have reacted to the proposed amendment. That, in the Board's opinion, is irrelevant. Likewise, it is not necessary that the need for the implied term should be obvious in the sense of being immediately apparent, even upon a superficial consideration of the terms of the contract and the relevant background. The need for an implied term not infrequently arises when the draftsman of a complicated instrument has omitted to make express provision for some event because he has not fully thought through the contingencies which might arise, even though it is obvious after a careful consideration of the express terms and the background that only one answer would be consistent with the rest of the instrument. In such circumstances, the fact that the actual parties might have said to the officious bystander "Could you please explain that again?" does not matter.

[26] In *BP Refinery (Westernport) Pty Ltd v Shire of Hastings* (1977) 180 CLR 266, 282-283 Lord Simon of Glaisdale, giving the advice of the majority of the Board, said that it was "not … necessary to review exhaustively the authorities on the implication of a term in a contract" but that the following conditions ("which may overlap") must be satisfied:

> (1) it must be reasonable and equitable; (2) it must be necessary to give business efficacy to the contract, so that no term will be implied if the contract is effective without it; (3) it must be so obvious that "it goes without saying" (4) it must be capable of clear expression; (5) it must not contradict any express term of the contract.

[27] The Board considers that this list is best regarded, not as series of independent tests which must each be surmounted, but rather as a collection of different ways in which judges have tried to express the central idea that the proposed implied term must spell out what the contract actually means, or in which they have explained why they did not think that it did so. The Board has already discussed the significance of "necessary to give business efficacy" and "goes without saying". As for the other formulations, the fact that the proposed implied term would be inequitable or unreasonable, or contradict what the parties have expressly said, or is incapable of clear expression, are all good reasons for saying that a reasonable man would not have understood that to be what the instrument meant.

[14.40] In *Marks and Spencer plc v BNP Paribas Securities Services Trust Company (Jersey) Ltd* [2015] UKSC 72; [2016] AC 742, Lord Neuberger (with whom Lord Sumption and Lord Hodge agreed) made the following comments about the implication of terms in light of the Privy Council's judgment in the *Belize Telecom* case:

[21] … It could be dangerous to reformulate the principles, but I would add six comments on the summary given by Lord Simon in *BP Refinery* as extended by Bingham MR in the *Philips* case [1995] EMLR 472 and exemplified in *The APJ Priti* [1987] 2 Lloyd's Rep 37. First, in *Equitable Life Assurance Society v Hyman* [2002] 1 AC 408, 459, Lord Steyn rightly observed that the implication of a term was "not critically dependent on proof of an actual intention of the parties" when negotiating the contract. If one approaches the question by reference to what the parties would have agreed, one is not strictly concerned with the hypothetical answer of the actual parties, but with that of notional reasonable people in the position of the parties at the time at which they were contracting. Secondly, a term should not be implied into a detailed commercial contract merely because it appears fair or merely because one considers that the parties would have agreed it if it had been suggested to them. Those are necessary but not sufficient grounds for including a term. However, and thirdly, it is questionable whether Lord Simon's first requirement, reasonableness and equitableness, will usually, if ever, add anything: if a term satisfies the other requirements, it is hard to think that it would not be reasonable and equitable. Fourthly, as Lord Hoffmann I think suggested in *Attorney General of Belize v Belize Telecom Ltd* [2009] 1 WLR 1988, para 27, although Lord Simon's requirements are otherwise cumulative, I would accept that business necessity and obviousness, his second and third requirements, can be alternatives in the sense that only one of them needs to be

satisfied, although I suspect that in practice it would be a rare case where only one of those two requirements would be satisfied. Fifthly, if one approaches the issue by reference to the officious bystander, it is "vital to formulate the question to be posed by [him] with the utmost care", to quote from Lewison, *The Interpretation of Contracts* 5th ed (2011), para 6.09. Sixthly, necessity for business efficacy involves a value judgment. It is rightly common ground on this appeal that the test is not one of "absolute necessity", not least because the necessity is judged by reference to business efficacy. It may well be that a more helpful way of putting Lord Simon's second requirement is, as suggested by Lord Sumption in argument, that a term can only be implied if, without the term, the contract would lack commercial or practical coherence.

[22] Before leaving this issue of general principle, it is appropriate to refer a little further to Belize Telecom, where Lord Hoffmann suggested that the process of implying terms into a contract was part of the exercise of the construction, or interpretation, of the contract. In summary, he said at para 21 that "[t]here is only one question: is that what the instrument, read as a whole against the relevant background, would reasonably be understood to mean?". There are two points to be made about that observation.

[23] First, the notion that a term will be implied if a reasonable reader of the contract, knowing all its provisions and the surrounding circumstances, would understand it to be implied is quite acceptable, provided that (i) the reasonable reader is treated as reading the contract at the time it was made and (ii) he would consider the term to be so obvious as to go without saying or to be necessary for business efficacy. (The difference between what the reasonable reader would understand and what the parties, acting reasonably, would agree, appears to me to be a notional distinction without a practical difference.) The first proviso emphasises that the question whether a term is implied is to be judged at the date the contract is made. The second proviso is important because otherwise Lord Hoffmann's formulation may be interpreted as suggesting that reasonableness is a sufficient ground for implying a term. (For the same reason, it would be wrong to treat Lord Steyn's statement in *Equitable Life Assurance Society v Hyman* [2002] 1 AC 408, 459 that a term will be implied if it is "essential to give effect to the reasonable expectations of the parties" as diluting the test of necessity. That is clear from what Lord Steyn said earlier on the same page, namely that "[t]he legal test for the implication of … a term is … strict necessity", which he described as a "stringent test".)

[24] It is necessary to emphasise that there has been no dilution of the requirements which have to be satisfied before a term will be implied, because it is apparent that Belize Telecom has been interpreted by both academic lawyers and judges as having changed the law. Examples of academic articles include C Peters "The implication of terms in fact" [2009] CLJ 513, P Davies, "Recent developments in the Law of Implied Terms" [2010] LMCLQ 140, J McCaughran "Implied terms: the journey of the man on the Clapham Omnibus" [2011] CLJ 607, and JW Carter and W Courtney, "Belize Telecom: a reply to Professor McLauchlan" [2015] LMCLQ 245. And in *Foo Jong Peng v Phua Kiah Mai* [2012] 4 SLR 1267, paras 34-36, the Singapore Court of Appeal refused to follow the reasoning in Belize at least in so far as "it suggest[ed] that the traditional 'business efficacy' and 'officious bystander' tests are not central to the implication of terms" (reasoning which was followed in *Sembcorp Marine Ltd v PPL Holdings Pte Ltd* [2013] SGCA 43). The Singapore Court of Appeal were in my view right to hold that the law governing the circumstances in which a term will be implied into a contract remains unchanged following Belize Telecom.

[25] The second point to be made about what was said in Belize Telecom concerns the suggestion that the process of implying a term is part of the exercise of interpretation. Although some support may arguably be found for such a view in *Trollope* at p 609, the first clear expression of that view to which we were referred was in *Banque Bruxelles Lambert SA v Eagle Star Insurance Co Ltd* [1997] AC 191, 212, where Lord Hoffmann suggested that the issue of whether to imply a term into a contract was "one of construction of the agreement as a whole in its commercial setting". Lord Steyn quoted this passage with approval in *Equitable Life* at p 459, and, as just mentioned, Lord Hoffmann took this proposition further in *Belize Telecom*, paras 17-27. Thus, at para 18, he said that "the implication of the term is not an addition to the instrument. It only spells out what the instrument means"; and at para 23, he

referred to "The danger … in detaching the phrase 'necessary to give business efficacy' from the basic process of construction". Whether or not one agrees with that approach as a matter of principle must depend on what precisely one understands by the word "construction".

[26] I accept that both (i) construing the words which the parties have used in their contract and (ii) implying terms into the contract, involve determining the scope and meaning of the contract. However, Lord Hoffmann's analysis in *Belize Telecom* could obscure the fact that construing the words used and implying additional words are different processes governed by different rules.

[27] Of course, it is fair to say that the factors to be taken into account on an issue of construction, namely the words used in the contract, the surrounding circumstances known to both parties at the time of the contract, commercial common sense, and the reasonable reader or reasonable parties, are also taken into account on an issue of implication. However, that does not mean that the exercise of implication should be properly classified as part of the exercise of interpretation, let alone that it should be carried out at the same time as interpretation. When one is implying a term or a phrase, one is not construing words, as the words to be implied are ex hypothesi not there to be construed; and to speak of construing the contract as a whole, including the implied terms, is not helpful, not least because it begs the question as to what construction actually means in this context.

[28] In most, possibly all, disputes about whether a term should be implied into a contract, it is only after the process of construing the express words is complete that the issue of an implied term falls to be considered. Until one has decided what the parties have expressly agreed, it is difficult to see how one can set about deciding whether a term should be implied and if so what term. This appeal is just such a case. Further, given that it is a cardinal rule that no term can be implied into a contract if it contradicts an express term, it would seem logically to follow that, until the express terms of a contract have been construed, it is, at least normally, not sensibly possible to decide whether a further term should be implied. Having said that, I accept Lord Carnwath's point in para 71 to the extent that in some cases it could conceivably be appropriate to reconsider the interpretation of the express terms of a contract once one has decided whether to imply a term, but, even if that is right, it does not alter the fact that the express terms of a contract must be interpreted before one can consider any question of implication.

[29] In any event, the process of implication involves a rather different exercise from that of construction. As Sir Thomas Bingham trenchantly explained in *Philips* at p 481:

> The courts' usual role in contractual interpretation is, by resolving ambiguities or reconciling apparent inconsistencies, to attribute the true meaning to the language in which the parties themselves have expressed their contract. The implication of contract terms involves a different and altogether more ambitious undertaking: the interpolation of terms to deal with matters for which, ex hypothesi, the parties themselves have made no provision. It is because the implication of terms is so potentially intrusive that the law imposes strict constraints on the exercise of this extraordinary power.
>
> …

[31] It is true that *Belize Telecom* was a unanimous decision of the Judicial Committee of the Privy Council and that the judgment was given by Lord Hoffmann, whose contributions in so many areas of law have been outstanding. However, it is apparent that Lord Hoffmann's observations in *Belize Telecom*, paras 17-27 are open to more than one interpretation on the two points identified in paras 23-24 and 25-30 above, and that some of those interpretations are wrong in law. In those circumstances, the right course for us to take is to say that those observations should henceforth be treated as a characteristically inspired discussion rather than authoritative guidance on the law of implied terms.

TERMS IMPLIED IN LAW

[14.45] Terms that are implied "in law" are implied in contracts falling within a particular class or description on the basis that they are necessary incidents of all contracts falling within the class in question. Traditional examples of terms implied in law include:

> the implied conditions of reasonable fitness and merchantable quality on a contract for the sale of goods, the rule that payment and delivery of goods are concurrent conditions, the implied warranty of seaworthiness, the implied condition on the letting of a furnished house that it is reasonably fit for habitation, the implied promise by one who agrees to build a house that the house will be reasonably fit for habitation, the implied promise by a servant not to disclose secret processes, not to hand over to a rival written work completed for the master, and not, while still in his master's employment, to solicit the master's customers to transfer their custom to himself, the implied promise by an employer (in some cases) to furnish work, the implied duty of care in the carriage of passengers and in looking after bailed goods, and the implied promise by a banker not to disclose the state of his customers' account.

(Williams, "Language and the Law IV" (1945) 61 *Law Quarterly Review* 384, 403, quoted in *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410, 448 per McHugh and Gummow JJ.)

The judgments in *Byrne v Australian Airlines Ltd* (extracted at [14.20]) and *Commonwealth Bank of Australia v Barker* [2014] HCA 32; (2014) 253 CLR (extracted at [14.158]) discuss the criteria by which the courts decide whether a term will be implied in law for the first time. Those criteria are further discussed in the following extract.

The test of "necessity"

University of Western Australia v Gray

[14.50] *University of Western Australia v Gray* [2009] FCAFC 116; (2009) 179 FCR 346 (Full Court of the Federal Court of Australia) – Appeal from a single judge of the Federal Court of Australia.

LINDGREN, FINN AND BENNETT JJ: [142] What is clear is that necessity in this context has a different shade of meaning from that which it has in formulations of the business efficacy test: see generally Treitel, *The Law of Contract*, at 6-042 (12th ed, 2007). The principal reason for this is, as Viscount Simonds indicated in *Lister v Romford Ice & Cold Storage Co Ltd* [1957] AC 555 at 576, that implication in law rests "upon more general considerations", a view endorsed both by Lord Wilberforce in *Liverpool City Council* [1977] AC 239 at 255 and by Lord Bridge in *Scally* at 307. Those more general considerations require that regard be had "to the inherent nature of the contract and of the relationship thereby established" as both *Lister* and *Scally* make plain. But those very considerations themselves can raise issues of "justice and policy" (cf *Star Shipping AS v China National Foreign Trade Transportation Corporation (The Star Texas)* [1993] 2 Lloyd's Rep 445 at 452; *Hughes Aircraft Systems International* (1997) 76 FCR 151 at 194-197) as well as consideration, not only of consequences within the employment relationship, but also of social consequences: see *Lister* at 579.

[143] *Lister* illustrates the significant role that public policy can have in the matter. In a passage often referred to in this country when distinguishing implications at law from those necessary to give business efficacy to a particular contract, Viscount Simonds observed (at 576):

> [T]he real question becomes, not what terms can be implied in a contract between two individuals who are assumed to be making a bargain in regard to a particular transaction or course of business; we have to take a wider view, for *we are concerned with a general question, which, if not correctly described as a question of status, yet can only be answered by considering the relation in which the drivers of motor-vehicles and their employers generally stand to each other*. Just as the duty of care, rightly regarded as a contractual obligation, is imposed on the servant, or the duty not to disclose confidential information …, or the duty not to betray secret processes …, just as the duty is imposed on the master not to require his servant to do any illegal act, just so the question must be asked and answered whether *in the world in which we live today it is a necessary condition of the relation of master and man that the master should, to use a broad colloquialism, look after the whole matter of insurance*. If I were to try to apply the familiar tests where the question is whether a term should be implied in a particular

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> contract in order to give it what is called business efficacy, I should lose myself in the attempt to formulate it with the necessary precision. The necessarily vague evidence given by the parties and the fact that the action is brought without the assent of the employers shows at least ex post facto how they regarded the position. But this is not conclusive; for, as I have said, the solution of the problem does not rest on the implication of a term in a particular contract of service but *upon more general considerations*. (Emphasis added)

Viscount Simonds later went on to discuss – and accept (at 579) – the contention that a term should not be implied "of which the social consequences would be harmful": see the discussion of this case in Treitel, at 6-043 and Gummow J's citation of Treitel's views on implication in *Breen v Williams* (1996) 186 CLR 71 at fn 192.

[144] The necessary tie between implication in law and considerations of policy has been widely acknowledged in recent times both in English and Australian case law and in scholarly writings. In England in particular this has been associated with an attack on the utility of "necessity" as a descriptor of the test actually being applied in the cases: see eg *Crossley v Faithful & Gould Holdings Ltd* [2004] 4 All ER 447 at [33]-[36]; Treitel, 6-042; Furmston (ed), 3.24; and see generally, Peden, 465 ff.

[145] In *Simonius Vischer & Co v Holt & Thompson* [1979] 2 NSWLR 322 at 348, Samuels JA suggested that the imposition of terms as a matter of law amounts to no more than the imposition of a legal duty where the law thinks policy requires it: for subsequent views to the same or like effect see eg *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234 at 261; *Vodafone Pacific Ltd v Mobile Innovations Ltd* [2004] NSWCA 15 at [187]. While Samuels JA's observations provide little guidance in shaping the judicial inquiry in individual cases, they helpfully acknowledge that considerations of policy can, and do, have a part to play in determining whether *or not* it is necessary that a contractual obligation should be implied in law in a given class of contract. The obligation of secrecy imposed upon professionals by virtue of their relationships with their clients and its varying scope from profession to profession, clearly illustrate this: see eg *Tournier v National Provincial and Union Bank of England* [1924] 1 KB 461 at 474; *Parry-Jones v Law Society* [1969] 1 Ch 1 at 7, 9.

[146] There is one matter calling for emphasis. It is that considerations of policy, as *Lister* illustrates, can be of considerable significance in negativing the making of an implication, or else in demonstrating that the issues raised by the proposed implication are of such a character or complexity as to make it inappropriate for a court, as distinct from a legislature, to impose the obligation in question: see eg *Reid v Rush and Tompkins Group plc* [1990] 1 WLR 212 at 220. As will be seen, "more general considerations" play an important part in dissuading us from allowing this aspect of the appeal and from making the implication sought.

[147] There are two final comments to be made. The first is that it is not appropriate in this appeal for us to venture a view upon whether the necessity test ought be discarded. That is for the High Court. What we have had to say of its presently permitted latitude is sufficient for present purposes. Secondly, we note that this is an area of law in which little direct assistance can be obtained from United States jurisprudence or from the provisions of transnational instruments: cf *Restatements of Contracts, Second*, § 204; Farnsworth, "Disputes over Omission in Contracts", (1968) 68 Colum L Rev 860; and see eg UNIDROIT *Principles of International Commercial Contracts*, Arts 4.8 and 5.1.2. What can be said, though, is that there is apparent acceptance both in judicial decision and in legal scholarship in the United States that when terms are implied by law (a description which includes what in our jurisprudence are implications in fact: *Farnsworth on Contracts*, § 7.16 (3rd ed, 2004)), that implication can be for reasons of justice, fairness and policy: see eg *NEA-Coffeyville v Unified School District No 445* 996 P 2d 821 at 830-832 (Kan 2000); *Farnsworth on Contracts*, § 7.16 at 351.

TERMS IMPLIED BY CUSTOM

Con-Stan Industries of Australia v Norwich Winterthur Insurance

[14.60] *Con-Stan Industries of Australia Pty Ltd v Norwich Winterthur Insurance (Aust) Ltd* (1986) 160 CLR 226 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: *Con-Stan* engaged *Bedford* (a company) as its insurance broker to secure various insurances. Norwich was selected and a proposal was submitted to it which was duly accepted. The premiums were paid by Con-Stan to Bedford but Bedford did not pass them on to *Norwich*. Bedford was wound up and Norwich sued Con-Stan to recover the premiums. Rogers J found for Con-Stan but his decision was reversed by the Court of Appeal.]

GIBBS CJ, MASON, WILSON, BRENNAN AND DAWSON JJ: [234] In the present case, if Bedford had been an agent of Norwich with authority to receive money on the latter's behalf, the payment by Con-Stan of its premiums to Bedford would have constituted payment to the principal. Norwich's sole recourse would then have been against Bedford for failure to account for moneys received in its capacity as agent. However, under the general principles of the law of agency, a broker is the agent of the assured, not the insurer … [235] This avenue foreclosed, Con-Stan nevertheless seeks to avoid having to pay the premiums a second time on a number of distinct grounds. It was submitted:

(1) there is an implied term in the contract of insurance, arising by virtue of custom or usage in the industry, that a broker alone is liable to an insurer for payment of the premium, or alternatively there is an implied term that payment of the premium to a broker discharges the assured's obligation to the insurer;

(2) alternatively, similar terms should be implied to give business efficacy to the contract; …

Custom

[14.65] The principal submission advanced on behalf of the appellant … is that there is an implied term in the contract of insurance between Con-Stan and Norwich, arising by virtue of custom in the industry, that an insurer is entitled to look only to the broker for payment of the premium. An alternative submission, which was the one accepted by Rogers J at first instance, is that the implied term arising by custom is that payment by an assured to his broker is a good discharge of his obligation to the insurer. The two submissions clearly differ because in the former the existence of an obligation in the assured to pay the premiums to [236] the insurer is denied, whereas in the latter it is accepted but regarded as discharged by payment to the broker. Thus an assured who made no payment of premiums to his broker would not be liable to the insurer under primary submission, but would be if the alternative submission were accepted.

The circumstances in which trade, custom or usage may form the basis for the implication of terms into a contract have been considered in many cases. The cases have established the following propositions:

(1) The existence of a custom or usage that will justify the implication of a term into a contract is a question of fact: *Nelson v Dahl* (1879) 12 Ch D 568 at 575. The critical dependence of a finding of custom on the facts of the particular case means there is little to be gained by referring (as counsel for the appellant urged us to do) to the practices of the London marine market in the last century, notwithstanding that those practices formed the basis for the implication, in contracts of marine insurance, of a term similar to the first of the terms alternatively contended for in this case.

(2) There must be evidence that the custom relied on is so well known and acquiesced in that everyone making a contract in that situation can reasonably be presumed to have imported that term into the contract. In the words of Jessel MR in *Nelson v Dahl* (at 575) approved by Knox CJ in *Thornley v Tilley* (1925) 36 CLR 1 at 8: "[The custom] must be so notorious that everybody in the trade enters into a contract with that usage as an implied term. It must be

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uniform as well as reasonable, and it must have quite as much certainty as the written contract itself."

However, it is not necessary that the custom be universally accepted, for such a requirement would always be defeated by the denial by one litigant of the very matter that the other party seeks to prove in the proceedings.

(3) A term will not be implied into a contract on the basis of [237] custom where it is contrary to the express terms of the agreement. One explanation of this principle is that, in so far as it relates to written contracts, it is simply an application of the parol evidence rule, by which extrinsic evidence is generally inadmissible to add to, vary or contradict the express terms of a contract which has been reduced to writing. A more fundamental explanation is that the presumed intention of the parties, on which the importation of the custom rests must yield to their actual intention as embodied in the express terms of the contract, regardless of whether the contract is written or oral.

It has sometimes been said that the implication of a term into a contract does not depend on the parties' intention, actual or presumed, but on broader considerations. But these statements are directed to situations in which the courts have been asked to imply terms amounting to rules of law applicable to all contracts of a particular class. The present case is of a different kind in which it may be necessary to speak of presumed intention. In matters of this kind, that phrase means no more than that the general notoriety of the custom makes it reasonable to assume that the parties contracted on the basis of the custom, and that it is therefore reasonable to import such a term into the contract.

(4) A person may be bound by a custom notwithstanding the fact that he had no knowledge of it. Historically the courts approached this question in a rather different way. It was said that, as a general rule, a person who was ignorant of the existence of a custom or usage was not bound by it. To this rule there was a qualification that a person would be presumed to know of the usage if it was of such notoriety that all persons dealing in that sphere could easily ascertain the nature and content of the custom. It would then be reasonable to impute that knowledge to a person, notwithstanding [238] his ignorance of it. In this way, the issue of notoriety discussed in (2) above came to be co-extensive with the question of imputed knowledge. The achievement of sufficient notoriety was both a necessary and sufficient condition for knowledge of a custom to be attributed to a person who was in fact unaware of it. The result is that in modern times nothing turns on the presence or absence of actual knowledge of the custom; that matter will stand or fall with the resolution of the issue of the degree of notoriety which the custom has achieved. The respondent's contention that industry practices unknown to the assured are incapable of forming the basis of an implied term of the contract cannot be sustained.

(5) In order to establish a custom to the effect that a broker is alone liable to an insurer for payment of a premium on a policy of insurance, it is not sufficient to show that in the ordinary course of events the premium is paid to the insurer by the broker, nor is it sufficient to show that where a broker has failed to pay a premium the insurer makes its first demand for payment from the broker. Both circumstances are consistent with the continued liability of the assured. It is necessary to establish a clear course of conduct under which insurers do not look to the assured for payment of the premium. This may be established by proving either an absence of claims by insurers against assured, or the existence of claims directed exclusively to brokers as a practice rarely if ever departed from. Having examined the evidence of custom that was led in the present case, we do not think this requirement is satisfied. The evidence … revealed a number of instances of insurers seeking a second payment from the assured notwithstanding that they had already paid their brokers …

[240] [The] evidence supports the inference that at least since 1973, it was a not uncommon view of those involved in the industry that insurers were entitled to look past the broker for payment of the

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premium. The fact that several assured were prepared to pay the premiums again, in whole or part, may indicate that that was a view with which they did not entirely disagree. Mr Hoffman [a witness who had "considerable experience in the insurance industry both as insurer and broker"] agreed that the legal obligations of an assured have been a matter of great uncertainty for a number of years. The learned trial judge was prepared to rely on Mr Hoffman's conclusion as to accepted practice in the industry, while acknowledging that the parties involved had not addressed their minds to the legal consequences that were to be accepted as accompanying that practice. But, as Glass JA observed in the Court of Appeal (at p 472), a custom that falls short of involving a recognition of rights and liabilities fails to provide a firm foundation for the implication of terms in a contract.

In our opinion, in the light of this evidence, it is not possible to say that the custom alleged has been proved to the high standard which the law requires. It has not been shown that the custom relied on is so well known and acquiesced in that everyone making a contract in that situation can reasonably be presumed to have imported that term into the contract.

Appeal dismissed.

THE DUTY OF GOOD FAITH

[14.70] There has been increasing willingness among judges to recognize an implied duty of good faith in Australian contract law. The duty would supplement the express terms of a contract by precluding certain sorts of uncooperative or unfair conduct in the performance and enforcement of that contract. While there are many decisions in the lower courts in support of a duty of good faith, the High Court has yet to express a view on whether Australian law recognises an independent implied duty of good faith in contract performance. The issue was expressly left open in *Royal Botanic Gardens and Domain Trust v South Sydney City Council* [2002] HCA 5; (2002) 240 CLR 45, 63, 76, and 94.

SHOULD A DUTY OF GOOD FAITH BE RECOGNISED?

Renard Constructions v Minister for Public Works

[14.80] *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234 (Supreme Court of New South Wales, Court of Appeal) – Appeal from a decision of Cole J.

[FACTS: Renard Constructions, the *contractor*, and the Minister for Public Works, the *principal*, entered into a contract for the construction of pumping stations, parts of a sewerage project in the Gosford/Wyong area. The general conditions of contract were in a form known as NPWC Edition 3 (1987). Subclause 44.1 provided that:

> If the Contractor fails within the period specified in the notice in writing to show cause to the satisfaction of the Principal why the powers hereinafter contained should not be exercised the Principal … may (a) take over the whole … of the work … and … exclude from the site the Contractor … or (b) cancel the contract …. The time for completion of the work was extended at the contractor's request several times. During this time the principal had not supplied all the materials it was required to supply under the contract.

The principal's assistant project manager was concerned by what he considered the delay and poor workmanship of the contractor. He recommended to the principal's superintendent for the works that

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the contractor be called upon to show cause under subcl 44.1. The superintendent acted accordingly. In response the contractor delivered a letter stating that it was willing and able to complete the contract within a reasonable time; it had twenty employees ten hours a day, six and in some cases seven days a week.

The assistant project manager recommended cancellation of both contracts. The superintendent prepared a recommendation for the senior officer of the principal who had an appropriate delegation of authority from the Minister to make final decisions to terminate contracts. That officer, in considering the recommendation, was not aware of the bearing that the non-supply of parts required to be supplied to the contractor by the principal would necessarily have upon the extended date for practical completion, nor was he aware that since the service of the notices to show cause the contractor had increased the work force, was working longer hours and had brought in a new, highly experienced foreman. Notice was then given to the contractor stating that the principal took over the whole of the work remaining to be completed and excluding the contractor from the sites.

The contractor treated the action by the principal as a wrongful repudiation of the contract, advised that it accepted the repudiation, and then asserted that it rescinded the contract. Arbitration proceedings were commenced under cl 45 of the contract. The arbitrator found that the principal had breached the contract by acting unreasonably in exercising the power conferred by cl 44.1. The arbitrator found that the superintendent's recommendation to the senior officer was based to some extent on a misunderstanding of certain relevant matters, and also very largely on "unfairly misleading, incomplete, and prejudicial information" supplied to the superintendent by the assistant project manager. The arbitrator held that the contractor was entitled to recover on a quantum meruit for work done prior to the principal's decision to take over the work. On appeal to the Supreme Court of New South Wales, Cole J held that the principal was not required to act reasonably in exercising its powers under cl 44.1, and that the principal had validly exercised those powers. The contractor appealed the decision of Cole J in relation to cl 44.1. The principal cross-appealed against the amount awarded by the arbitrator on the quantum meruit claim.]

PRIESTLEY JA: … [256]

Implication ad hoc

[257] Brownie J [in *Minister for Public Works v Renard Constructions (ME) Pty Ltd (No 1)* (Brownie J, 15 February 1989, unreported)] had decided against any implication concerning the way the principal should approach the matter of "satisfaction" under the clause but thought the principal must act reasonably in deciding, in the event of non-satisfaction, whether to exercise any of the powers. Cole J took a different view with regard to both these aspects. He was not prepared to recognise any implication concerning the exercise of the powers but thought the principal could not reach a conclusion the contractor had failed to show cause to the principal's satisfaction, in a case where the contractor had attempted to show cause, without giving bona fide proper and due consideration to the contractor's submissions and to the conclusion that should be reached upon them. For myself, I cannot see why a term should not be implied at both stages; that is, it seems to me relatively obvious that an objective and reasonable outsider to this contract upon reading subcl 44.1 would assume without serious question that the principal would have to give reasonable consideration to the question whether the contractor had failed to show cause and then, if the principal had reasonably concluded that the contractor had failed, that reasonable consideration must be given to whether any power and if any which power should be exercised.

In the case of the implication at each stage it seems to me that all the accepted criteria for an implication ad hoc, set out above, are clearly satisfied, with one possible exception. That is the requirement that the implication must be necessary to give business efficacy to the contract so that no term will be implied if the contract is effective without it. Although I think this requirement also is satisfied, it is one about which minds may differ, and it should be given explicit consideration.

In particular, the content of the word "effective" in the requirement must be considered. Obviously, the contract in the present case could have been fully carried out to the satisfaction of the parties

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without any reference to or thought of the terms which in my opinion are implied in it. That is, in some circumstances the contract will be effective, in one sense, without any reference to situations said to require implied terms. The question of "effectiveness" will only come up when a dispute has arisen about the way a contract is to work, and one party is saying that a term needs to be implied which will produce what that party claims is a fair (or reasonable, or proper, or just) way of resolving the dispute, and the other party is saying that the contract can work (which implicitly means "for practical purposes" or fairly, reasonably, properly or justly) without the claimed implied term. In such cases the opposing parties will adopt different views of what amounts to effectiveness so far as their contract is concerned.

In the present case for example, the contractor, using the arbitrator's findings would say that there was no business efficacy in a contract which permitted a principal to decide, basing himself on misleading information, to exclude the contractor from completing the contractual work, with no advantage to the principal and considerable detriment to the contractor. The principal would reply by saying (along no doubt with many other things) that his object was to get the particular public works done, he did get them done and the contract worked appropriately for him, and in the way he had bargained for, without the need for implying the terms contended for by the contractor. [258] Although this way of putting the views of the opponents in the present case may be rather rough and ready, it serves to illustrate some of the difficulties in the idea of "business efficacy" and also to prompt the question whether that term may not be directed to business efficacy from the point of view of both parties to the contract. (If the term is so directed, it would not in all cases reduce the difficulties of its meaning, because there is no reason why one competent party to a contract might not, for good reason, expressly or impliedly agree in the contract to subordinate that party's interests in the outcome of the contract to those of the other party; it would however simplify the idea in many cases.)

However, notwithstanding the attraction of following the course mentioned in the previous paragraph, I think it is appropriate to answer the "business efficacy" question by looking at cl 44 in a more general way.

It seems clear that the words of the clause empower the principal to give a notice to show cause upon any default in carrying out any requirement in the contract. Thus for a completely trivial default the principal can give a notice to show cause. It is possible to imagine many situations in which, if a notice for some trivial breach were given the contractor might fail, as a matter of fact, to show cause within the specified period to the satisfaction of the principal why the powers should not be exercised against him. (One obvious example would be where, through some mistake, the contractor's attempt to show cause was delivered late.)

For the principal, in such circumstances, to be able then to exclude the contractor from the site and/or cancel the contract would be, in my opinion, to make the contract as a matter of business quite unworkable. One way of explaining this view is to say that no contractor in his senses would enter into a contract under which such a thing could happen. The reasonable contractor, the reasonable principal and the reasonable looker-on would all assume that such a result could not come about except with good reason.

The over-riding purpose of the contract from both the contractor's and the principal's point of view is to have the contract work completed by the contractor in accordance with the contract, in return for payment by the principal in accordance with the contract. The insertion of a subclause such as subcl 44.1 not subject to the constraint of reasonable use by the principal is quite inconsistent with all the main contractual promises by each party to the contract to the other. The contract can in my opinion only be effective as a workable business document under which the promises of each party to the other may be fulfilled, if the subclause is read in the way I have indicated, that is, as subject to requirements of reasonableness.

Such a reading does not in my opinion detract from the usefulness of the subclause to the principal, to whom it is of obvious practical importance, and for whose benefit it is. If, on the approach I take,

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there is some significant default by the contractor then the principal can give the notice to show cause. In some cases events from that point will unarguably clearly entitle the principal to exercise one or more of the powers. There will be other cases in which there will be tenable arguments both ways whether the contractor had failed to show cause to the satisfaction of the principal why the powers should not be exercised. In such cases the way the clause is drafted leaves the matter in the hands of the principal; if the principal, acting reasonably, is in fact not satisfied, then the principal has the power to decide whether one or [259] more of the powers should be exercised. On the approach I favour, it will only be if the non-satisfaction of the principal does not have a reasonable basis or the decision to exercise a power or powers has no reasonable basis that the exercise of one or more of the powers will be in breach of one or both the implied obligations. It seems to me that if in such a case (that is, where there is no reasonable basis at either stage) the principal was contractually entitled to exercise one or more of the powers, and did so, the very exercise itself would deprive the contract of its business efficacy.

I think the same point can be made in regard to the example supplied by the facts in *Hughes Bros Pty Ltd v The Trustees of the Roman Catholic Church for the Archdiocese of Sydney & Anor* (1993) 31 NSWLR 91. There can be no doubt that subcl 44.7 is one which a prudent principal would want to have in a contract such as NPWC Edition 3 (1981). One reason is that the contract involves subcontractors and thus potentially all the difficulties that can beset a principal from that quarter if the contractor gets into financial trouble. The protection of the principal is achieved by the way subcl 44.7 works with subcl 44.1. Yet this protection is only necessary if the contractor is in fact in financial trouble, and the clause also gives the power (if there is no implied term of limitation) to a principal whose contractor is not in financial trouble, but is a company against which a winding up proceeding has been instituted for some reason (simple mistake, or some ulterior motive) by a third party not associated with principal or contractor, and such proceeding is bound to fail. My understanding is that, like it or not, such proceedings are not uncommon. I find it hard to think either that a contractor would agree to giving a principal the unqualified right to exercise the powers in subpar (a) or subpar (b) of subcl 44.1 in the event that a third party instituted a groundless proceeding or that a principal would have the hardihood to insist on such a completely unqualified right.

In explanation of the preceding paragraph I should make it clear that I recognise that the institution even of a groundless winding up proceeding can have consequences for the luckless company respondent to it which will be important to someone in contractual relations with that company. One of the best-known consequences is that the default provisions of many types of securities may be activated by the commencement of such proceedings. I can therefore imagine a principal saying to a contractor that it was essential for the principal to have a subcl 44.7 right, but I also feel sure that the principal would tell the contractor that the contractor could rely on the principal not to exercise it except for a good commercial reason – why should a reasonable businessman insist on anything more? If my reasoning is sound, then it seems to me to follow that there is an implied obligation on the principal to use the subcl 44.7 power reasonably.

This does not mean that a principal who learns of the institution of winding up proceedings against the contractor is obliged to make any detailed inquiry about the likelihood of success of such proceedings. The nature of the problems that subcl 44.7 protects the principal from is such that quick action by the principal will be highly desirable if the power is to be used.

The obligation of reasonableness would usually be discharged, for example, by some inquiry from principal to contractor about the proceedings, and it would require some very conclusive response from the contractor before it could be said the principal was not reasonable in then exercising the [260] power; nevertheless it would not be reasonable, in my opinion, for the principal to exercise the power because of the bare fact of the proceedings having been instituted, and nothing more. More would often be supplied by knowledge the principal had of the contractor's financial position from sources independent of the contractor. In many cases the principal would be quite justified in relying on hearsay information, in some cases perhaps not.

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The point is that, in my opinion, the principal would have to consider the matter before acting. The fact that in the case of the subcl 44.7 power, it would not be difficult for the principal to show it had been reasonable in exercising it, is not a reason for saying the obligation does not exist. In *Hughes Bros*, for example, while I respectfully agree with the result reached by Giles J, I would myself reach that result by saying the principal had been subject to the obligation of reasonableness, but that in the circumstances of the case, the obligation had been complied with.

There is nothing in the slightest novel in the implication of terms requiring reasonableness by parties to a contract in implementing terms of the contract. Two comparatively recent examples of this to which the Court was referred by the appellant are *Meehan v Jones* (1982) 149 CLR 571, a decision of the High Court, and *Progress & Properties (Strathfield) Pty Ltd v Crumblin* (1984) 3 BPR 9496, a decision of this Court, in which Meehan was relied on for concluding that a clause in a contract for sale entitling the purchaser to rescind if finance was not obtained within a stated period carried with it an implied term that the purchaser would do all that was reasonable to obtain satisfactory finance.

Certainly in the present case, where subcl 44.1 alone is concerned, the possibility clearly exists of the sort of case mentioned earlier where it would be unreasonable to exercise an otherwise available power; in such a case, it seems to me, the exercise of the power, far from supporting the business efficacy of the contract, would be destructive of its principal purposes and promises.

On the view I take of the implied terms which attach to subcl 44.1, the findings of fact made by the arbitrator were more than sufficient to justify his conclusion that the principal was not entitled to exercise any power under subcl 44.1 in the events that happened after service of the notice to show cause. The principal's announcement to the contractor that the contractor was to be excluded from the site and the remaining work was to be taken over by the principal was therefore a position the principal was not entitled to adopt and was in my opinion undoubtedly repudiatory conduct entitling the contractor to take the step which it then took bringing the contract to an end.

Implication by law

[14.85] Although the authorities … seem to require a sharp distinction to be drawn between implication ad hoc and by law, assigning the former to the facts of a particular contract, and the latter to the legal incidents of contracts of different classes, consideration of the contract in the present case shows there may be a good deal of overlap between the two categories. [263] In my view the particular contract in this case contains the terms implied ad hoc that I have already discussed. The particular contract however is in a standard form, and there is no reason why the same conditions would not be implied in every contract in that form. Further, the standard form contract [261] NPWC Edition 3 (1981) is itself an example of a wider and common class of contract. This is the class of contract in which one party promises to build a work of some size for the other party for a price fixed by the contract, which sets out to regulate the carrying out of the contract, and in doing so provides for a number of eventualities (slow work, unsatisfactory work, financial problems of the contractor, method of payment, settlement of disputes, to name a few) which experience has shown it is prudent to provide for in advance.

Treating the present case as falling in this class, … the matters I have mentioned in dealing with ad hoc implication seem to me to support the view that the law would attach the same implication as a necessary incident of such contracts.

…

Good faith

[14.90] The kind of reasonableness I have been discussing seems to me to have much in common with the notions of good faith which are regarded in many of the civil law systems of Europe and in all States in the United States as necessarily implied in many kinds of contract. Although this implication has not yet been accepted to the same extent in Australia as part [264] of judge-made Australian contract law, there are many indications that the time may be fast approaching when the idea, long recognised as implicit in many of the orthodox techniques of solving contractual disputes, will gain explicit recognition in the same way as it has in Europe and in the United States.

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[Priestley JA went on to discuss in detail the recognition of good faith in other jurisdictions and "the ever growing number of statutes permitting Courts to remould particular kinds of contract in the interests of fairness." He concluded his discussion of good faith as follows at [268]:]

> The result is that people generally, including judges and other lawyers, from all strands of the community, have grown used to the courts applying standards of fairness to contract which are wholly consistent with the existence in all contracts of a duty upon the parties of good faith and fair dealing in its performance. In my view this is in these days the expected standard, and anything less is contrary to prevailing community expectations.

MEAGHER JA:

[14.95] [275] Cole J rejected any submission that reasonableness could be imported as a limitation on the exercise of cl 44 powers. In my opinion he was right to do so. Such a limitation, if it existed, could only arise either from the express words of the contract or by way of an implied term. Obviously enough it does not arise as a matter of construction of cl 44. It is not referred to expressly in that clause, nor is it to be discerned as a matter arising by necessary implication from the words used. Nor, in my view, is there any room to imply a term. Any such attempt could not survive the tests adumbrated by the High Court in *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 and *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596.

…

Clause 44.1 provides that action to take over the contract and exclude the contractor can only be taken if the principal is "satisfied" as to certain matters, namely why the powers referred to should not be exercised. Inherent in the notion of being "satisfied" is an ability to comprehend the factual background on which satisfaction is required. If, for example, as Mr Miller QC senior counsel for the principal conceded, the principal were disabled by drunkenness, insanity or illiteracy from understanding the basic facts of the case, he could never reach an appropriate degree of satisfaction. Likewise here, in my view, when the principal's mind, on the arbitrator's findings, was so distorted by prejudice and misinformation that he was unable to comprehend the facts in respect to which he had to pass judgment. Since he was unable to be "satisfied" – and, if it matters, that inability arose solely through his own fault – his action in taking over the contract and excluding the contractor lacked contractual justification and amounted to a repudiation.

HANDLEY JA:

[14.100] [279] I agree generally with much of what Priestley JA has written on the other issues in the appeal. I also agree with the conclusion by Meagher JA that the principal's "decision was based on a fundamental misunderstanding of relevant matters … and was grounded on misleading, incomplete, and prejudicial information". Meagher JA concludes that these findings demonstrate that the principal could not have given bona fide consideration to the contractor's submissions and therefore could not have been satisfied that the power which had arisen should be exercised. For myself I prefer to regard these matters as demonstrating that the principal's decision, however honest, was objectively unreasonable and therefore an invalid exercise of the power. In agreement with Priestley JA, I would hold that as a matter of construction the power must be exercised reasonably. However I have reached this conclusion by a somewhat different route to those on which he prefers to base his judgment ….

The power conferred on the principal by cl 44.1 is to vary ("take over the whole or any part of the work") or cancel the contract. The power arises on the happening of any breach, however minor, and whenever the breach occurs. It also arises upon the contractor neglecting to comply with any direction given by the principal, however minor, accidental or temporary that neglect might be, and regardless of the importance or otherwise of the subject matter. This express power therefore covers many cases where the principal would have no power to rescind the contract for breach under the general law.

Renard Constructions v Minister for Public Works cont.

Apart from the great width of these powers, there are three other matters which support the existence of some restraint on their exercise apart from the normal requirement of honesty. The power may only be exercised after the principal has given the contractor "notice in writing to show cause … why the powers … should not be exercised". The notice must state that it is given under the clause and "shall specify the default, refusal or neglect … upon which it is based". It is clear that the power is only exercisable for "cause" and after the contractor has been given an opportunity to be heard. This is some indication that the contractor is entitled to appeal to objective considerations including questions of reasonableness in showing cause against the exercise of the powers. The very notion of showing cause seems inconsistent with the view that the principal will be entitled to act, within the limits of honesty, on his own idiosyncratic opinion. [280] The second matter depends on whether "the satisfaction of the principal" in cl 44.1 refers to an opinion which is reasonable or to one which is merely honest. The implication of reasonableness is readily made: see *Hillas and Co Ltd v Arcos Ltd* [1932] All ER Rep 494, 507; (1932) 38 Com Cas 23, 43–44, where Lord Wright referred to: "… the legal implication in contracts of what is reasonable, which runs throughout the whole of modern English law in relation to business contracts."

…

It seems to me that cl 44.1 should be construed as requiring the principal to act reasonably as well as honestly in forming the opinion that the contractor had failed to show cause to his satisfaction and thereafter in deciding whether or not to take over the whole or any part of the remaining work or to cancel the contract: see generally *Amann Aviation Pty Ltd v Commonwealth of Australia* (1990) 22 FCR 527 at 532, 542–4 and *The Commonwealth v Amann Aviation Pty Ltd* (1991) 66 ALJR 123; 104 ALR 1.

Appeal allowed.

Service Station Association v Berg Bennett

[14.130] *Service Station Association v Berg Bennett* (1993) 45 FCR 84 (Federal Court of Australia).

GUMMOW J:

Good faith

[95] [The] various North American jurisdictions have not yet developed "a coherent theory of good faith": HK Lucke, "Good Faith and Contractual Performance" in PD Finn (ed), *Essays on Contract* (1987), p 155 at p 161, the paper to which counsel for the applicant referred. In *Gateway Realty Ltd v Arton Holdings Ltd (No 3)* (supra) it was said:

> "Good faith" conduct is the guide to the manner in which the parties should pursue their mutual contractual objectives. Such conduct is breached [sic] when a party acts in "bad faith" – a conduct that is contrary to community standards of honesty, reasonableness or fairness.

Invocation of "community standards" may be no more than an invention by the judicial branch of government of new heads of "public policy", something long ago regarded as a risky enterprise: cf *Gollan v Nugent* (1988) 166 CLR 18 at 35, per Brennan J. It cannot be less so in the modern administrative state "shaped by explicitly adopted policies, incorporated in legislation and implemented by a large array of large regulatory agencies": N Gunningham, "Public Choice: The Economic Analysis of Public Law" (1992) 21 Fed L Rev 117.

However, in *Gateway Realty* (at 197) it was then said:

> In most cases, bad faith can be said to occur when one party, without reasonable justification, acts in relation to the contracts in a manner where the result would be to substantially nullify

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> the bargained objective [96] or benefit contracted for by the other, or to cause significant harm to the other, contrary to the original purpose and expectation of the parties.

That bears a closer relationship to the generally accepted position in Anglo-Australian law. Before looking ahead, it may be wise to look to what has gone before. In the first edition of the *Corpus Juris*, Vol 13, par 721, published in 1917, the authors wrote: "Each party to a contract impliedly agrees not to prevent the other party from performing or to render performance impossible by any act of his own, and a promise to perform a particular act implies a promise not to perform an inconsistent act."

One of the authorities cited for these propositions was *Sprague v Booth* [1909] AC 576. In that case (at 580), the Privy Council set out the passage from the speech of Lord Blackburn in *Mackay v Dick* (supra) to which Mason J was to refer in *Secured Income Real Estate*. At that stage, therefore, it appears there was not a great deal of difference between the development of the common law on either side of the Atlantic.

In *Kirke La Shelle Co v Paul Armstrong Co* 188 NE 163 (1933), the New York Court of Appeals was dealing with a contract whereby the plaintiff was to receive half of the profits from the production of a particular play, the contract having been made before the invention of talking pictures. It was held that there was an implied obligation on the part of the licensor not to render valueless the rights conferred by the granting of talking picture rights to a third party. The court referred to various authorities and said (at 167):

> In the last analysis those cases only apply the principle that in every contract there is an implied covenant that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the *contract, which means that in every contract there exists an implied covenant of good faith and fair dealing*. (Emphasis supplied)

If the passage italicised is read as more than a summary statement of the contents of that which went before it, then it was, one might have thought, a non sequitur. However, one of the cases referred to in *Kirke La Shelle* was *Brassil v Maryland Casualty Co* 104 NE 622 (1914). This is another decision of the New York Court of Appeals. There (at 624) the Court had spoken, in fairly general terms, of an "implied obligation of good faith and fair dealing" in contractual performance. *Brassil* was also cited by the same court, in *Wigand* (supra) at 619, as authority that every contract "implies good faith and fair dealing between the parties to it". (But, as I have indicated, the result in Wigand is explicable on narrower grounds.) It is from authorities such as these that there existed the germs of the principle now sought to be generally applied by §205 of the *Restatement [of] Contract*. Anglo-Australian contract law as to the implication of terms has heretofore developed differently, with greater emphasis upon specifics, rather than the identification of a genus expressed in wide terms. Equity has intervened in matters of contractual formation by the remedy of rescission, upon the grounds mentioned earlier. It has restrained freedom of contract by inventing and protecting the equity of redemption, and by relieving against forfeitures and penalties. To some extent equity has regulated the quality of [97] contractual performance by the various defences available to suits for specific performance and for injunctive relief. In some, but not all, of this, notions of good conscience play a part. But it requires a leap of faith to translate these well-established doctrines and remedies into a new term as to the quality of contractual performance, implied by law.

It also is to be borne in mind that treatment of the common law of simple contracts as a coherent whole is of fairly recent origin. There is already a degree of artificiality in forcing the wide range of contractual activities encountered in the community into the framework required by the standard contracts texts. One example is the application of contractual principles to the relations between past, present and future members of property owning unincorporated associations: see, for example, *Master Grocers' Association of Victoria v Northern District Grocers Co-operative Ltd* [1983] 1 VR 195 at 201–4; Ford and Lee, *Principles of the Law of Trusts* (2nd ed, 1990), §530. Another example is the classification in terms of offer and acceptance and animus contrahendi of dealings for value between

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the citizen and a public body, pursuant to statute, for the provision of information held only by that body and vital for the business affairs of the citizen; in one such case it was held there was no contract for the issue of a certificate under s 149 of the *Environmental Planning and Assessment Act 1979* (NSW): *Lismore City Council v Stewart* (1989) 18 NSWLR 718 at 726. The implication of a term by operation of law, applicable across the whole spectrum of the law of contract, is a major step. Further, in deciding to take any such step it is now idle to speak to "the law of contract" without a real appreciation of the deep impact in Australia of various statutory regimes, one of which, of course, gives rise to a most substantial body of work in this Court, and has done so now for many years.

The course of decision in North America may exemplify what the late Professor Stone called a category of indeterminate reference, predicated on a "fact-value" complex, not mere facts: *Legal System And Lawyers' Reasonings* (1964), Ch 7, §11. It is true that there may be a number of categories of indeterminate reference which already exist in the case law in Australia. However, that is no reason to add to them.

[14.135] Notes

In *Esso Australia Resources Pty Ltd v Southern Pacific Petroleum NL* [2005] VSCA 228, Warren CJ said:

> [2] The development of the law relating to good faith has travelled an almost full circle. Following initial hesitation, even reluctance (see, for example, *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234 at 263-264; also, *Service Station Association Ltd v Berg Bennett & Associates Pty Ltd* (1993) 45 FCR 84 at 96), by the courts to imply such a duty, there was a discernible preference to imply, instead, a duty of co-operation to secure performance of the contract … However, there has been clear recognition of the doctrine of good faith (see, for example, *Hughes Aircraft Systems International v Airservices Australia* [1997] FCA 558; (1997) 146 ALR 1, 36; *Alcatel Australia Ltd v Scarcella* (1998) 44 NSWLR 349, 369; *Far Horizons Pty Ltd v McDonald's Australia Ltd* [2000] VSC 310). That said, courts have, more often than not, decided these matters on other bases and thereby avoided the conceptual difficulty that can attend the concept of a duty of good faith.
>
> [3] There has also been consideration of the capacity of a contractual party to look after itself and its own interests rather than turn to concepts of good faith for relief (See, for example, *Playcorp Pty Ltd v Taiyo Kogyo Ltd* [2003] VSC 108 at [267]). These approaches, more aptly described as judicial reticence, regarding the application of the doctrine of good faith, may be construed as hesitation at the courts' involvement in contractual performance. If a duty of good faith exists, it really means that there is a standard of contractual conduct that should be met. The difficulty is that the standard is nebulous. Therefore, the current reticence attending the application and recognition of a duty of good faith probably lies as much with the vagueness and imprecision inherent in defining commercial morality. The modern law of contract has developed on the premise of achieving certainty in commerce. If good faith is not readily capable of definition then that certainty is undermined. It might be that a duty of good faith is no more than a duty to act reasonably in performance and enforcement, a long established duty (See *Electronic Industries Ltd v David Jones Ltd* [1954] HCA 69; (1954) 91 CLR 288 at 297). Of course, some commentators have regarded the duty to act reasonably as properly subsumed within the duty of good faith (See NC Seddon & MP Ellinghaus, *Cheshire & Fifoot's Law of Contract*, (8th ed, 2002) at 428, 10.48).

Buchanan JA (with whom Warren CJ and Osborn AJA agreed) made the following observation by way of obiter dicta (the court having found that any obligation to exercise good faith had not been breached):

> [25] I am reluctant to conclude that commercial contracts are a class of contracts carrying an implied term of good faith as a legal incident (Cf *Vodafone Pacific Ltd v Mobile Innovations Ltd* [2004] NSWCA 15, [191] per Giles JA), so that an obligation of good faith applies indiscriminately to all the rights and power conferred by a commercial contract. It may, however, be appropriate in a particular case to import such an obligation to protect a vulnerable party from exploitive conduct which subverts the original purpose for which the contract was made. Implication in this fashion is perhaps ad hoc implication meeting the tests laid down in *BP Refinery (Westernport) Pty Ltd v Shire of Hastings* (1977) 180 CLR 266, rather than implication as a matter of law creating a legal incident of contracts of a certain type.

WHAT DOES GOOD FAITH REQUIRE?

[14.145] Australian courts have commonly drawn upon the statements of Sir Anthony Mason to the effect that the concept of good faith embraces:

> (1) an obligation on the parties to co-operate in achieving the contractual objects (loyalty to the promise itself); (2) compliance with honest standards of conduct; and (3) compliance with standards of contract which are reasonable having regard to the interests of the parties.

(Mason, "Contract, Good Faith and Equitable Standards in Fair Dealing" (2000) 116 *Law Quarterly Review* 66, 69.)

The third element of Sir Anthony Mason's list is often encapsulated in the idea that each party is required "to exercise the powers conferred upon it by the agreement in good faith and reasonably, and not capriciously or for some extraneous purpose": *Far Horizons Pty Ltd v McDonalds Australia Ltd* [2000] VSC 310 [120]; see also *Burger King Corporation v Hungry Jack's Pty Ltd* [2001] NSWCA 187; (2001) 69 NSWLR 558, [171].

Co-operation in contract performance

[14.150] An implied duty to co-operate in performing a contract is well established in Australian contract law, as discussed in *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596. The duty to co-operate may be seen as an aspect of a more general duty of good faith in contract performance. On the overlap between the duty to co-operate and the duty of good faith recognised in the United States, see *Service Station Association v Berg Bennett* (1993) 45 FCR 84, at [14.130].

Secured Income Real Estate (Australia) v St Martins Investments

[14.155] *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: The vendor, *appellant*, and the purchaser, *respondent*, entered into a contract for the sale of land on which there was a large office building. Settlement was made on 26th January 1973 and the respondent then became the registered proprietor of the land. A balance of $170,000 remained owing after settlement which was payable not later than 26th May 1973. The contract provided

Secured Income Real Estate (Australia) v St Martins Investments cont.

for the reduction of this sum by a formula if the appellant was unable to provide evidence to the respondent's reasonable satisfaction that aggregate rents under leases of premises in the building had reached a specified figure. It also provided that all leases of the premises after its execution should be approved by the respondent, but approval was not to be capriciously or arbitrarily withheld. There was no requirement that the respondent should grant leases after it became the registered proprietor. (Mason J, at 601, commented that in "all probability the draftsman failed to appreciate that title to the property was to pass on [the settlement date].") On the date of settlement and at all times after that, the aggregate rents were far below the specified figure. The appellant offered to lease so much of the vacant premises as would increase the aggregate rents to the figure but the offer was rejected. On 26th May 1973, the aggregate rentals were so far below the specified figure that the balance of the purchase price was reduced by the operation of the formula to nil.

The appellant sued for damages for breach of an implied term that the respondent would actively co-operate in efforts to secure tenants and would not obstruct them. The appellant alleged that this term had been breached by the respondent's rejection of the appellant as a tenant.]

MASON J:

[607] Was the respondent's rejection of the appellant's offer to take a lease of the vacant space in the building a breach of contract?

This is the next question to be considered. Clause 1 (d), which required the approval of the respondent purchaser to leases after the date of execution of the contract, provided that its approval should not be capriciously or arbitrarily withheld. This sub-clause dealt with the grant of leases before the respondent became the owner, when the appellant was granting leases of parts of the building, subject to the approval of the respondent. But it is common ground that the contract imposed an implied obligation on each party to do all that was reasonably necessary to secure performance of the contract. As Lord Blackburn said in *Mackay v Dick* (1881) 6 App Cas 251, at p 263:

> as a general rule … where in a written contract it appears that both parties have agreed that something shall be done, which cannot effectually be done unless both concur in doing it, the construction of the contract is that each agrees to do all that is necessary to be done on his part for the carrying out of that thing, though there may be no express words to that effect.

It is not to be thought that this rule of construction is confined to the imposition of an obligation on one contracting party to co-operate in doing all that is necessary to be done for the performance by the other party of his obligations under the contract. As Griffith CJ said in *Butt v McDonald* (1896) 7 QLJ 68, at pp 70–1: "It is a general rule applicable to every contract that each party agrees, by implication, to do all such things as are necessary on his part to enable the other party to have the benefit of the contract."

It is easy to imply a duty to co-operate in the doing of acts which are necessary to the performance by the parties or by one of the parties of fundamental obligations under the contract. It is not quite so easy to make the implication when the acts in question are necessary to entitle the other contracting party to a benefit under the contract but are not essential to the performance of that party's obligations and are not fundamental to the contract. Then the question arises whether the contract imposes a duty to co-operate on the first party or whether it leaves him at liberty to decide for himself whether the acts shall be done, even if the consequence of his decision is to disentitle the other party to a benefit. In such a case, the correct interpretation of the contract depends, as it seems to me, not so much on the [608] application of the general rule of construction as on the intention of the parties as manifested by the contract itself.

The respondent submitted that there was no implied obligation on the respondent to grant any leases after 26th January 1973. The basis for this submission was that there was no necessity to make the implication because it was as much in the interests of the respondent to lease the premises as it was in the interests of the appellant that the respondent should do so. This argument overlooked the circumstance, vitally important in the present case, that, in the situation which arose, it was in the

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interests of the respondent not to grant a lease at the relevant time so as to disentitle the appellant to payment of the final balance of the purchase price.

Moreover, the argument overlooked the general tenor of the provisions of the contract to which reference has already been made. They contemplated that leases would be granted of unlet space between 26th January 1973 and the final date for completion and that it would be in the interests of both parties that such leases be granted, in particular so as to entitle the appellant to payment of the final balance of the purchase price. As I read them, they imply an obligation on the respondent to do all things reasonably necessary to enable leases to be granted.

They are certainly inconsistent with the hypothesis that the respondent had an unfettered discretion to decide whether a lease would be granted or not. It is significant that cl 1 (d), which dealt with the grant of leases between the date of contract and 26th January 1973, prohibited the respondent from capriciously or arbitrarily withholding its approval to a lease. As I pointed out earlier, the draftsman failed to appreciate that from 26th January 1973 it was for the respondent and not the appellant to grant leases. Consequently, cl (f) referred to "leases … which shall be approved by the Purchaser" coming into existence between the date of the contract and the date of final completion. However, the serious mistake which the draftsman made does not obscure the evident intention of the parties that the restriction on the respondent's power to withhold approval to a lease contained in cl 1 (d) should be carried through and apply to all leases granted before the date of final completion. It is obvious that had the parties realised the mistake made by the draftsman they would have reformed the contract so that it made accurate provision for the grant of leases by the respondent after 26th January 1973 and restricted the respondent's power to refuse to grant a lease in conformity with the prohibition in cl 1 (d).

[609] This is not rectification. It is a case in which the parties through their draftsman have chosen language which is inappropriate to the circumstances which they have in mind. The misapprehension which they made is obvious, as is their reason for making it. Despite this, there is clearly manifested in the contractual provisions, inaptly expressed in part though they are, the intention that the respondent was not to be entitled before the final date for completion by any capricious or arbitrary decision to prevent the grant of a lease of unlet space in the building.

The question then is whether the respondent capriciously or arbitrarily refused to grant a lease to the appellant, the appellant having the onus of establishing that the refusal was capricious or arbitrary because it was bound to establish the respondent's breach of contract. The respondent was not bound to give reasons for refusing to grant a lease to the appellant, though its failure to do so leads more readily to the inference that the refusal was capricious (*Frederick Berry Ltd v Royal Bank of Scotland* [1949] 1 KB 619, at p 623). The meaning of the word "arbitrarily" in the context of refusal of consent to an assignment of a lease has been much discussed. In *Barrow v Isaacs & Son* [1891] 1 QB 417, at p 419, Lord Esher MR thought that it meant "wholly unreasonably". In *Mills v Cannon Brewery Co Ltd* [1920] 2 Ch 38, at p 45, PO Lawrence J considered the authorities, including *Barrow v Isaacs & Son*, in which the meaning of the word had been considered, and concluded that the various synonyms assigned to it, "unreasonably", "wholly unreasonably" and "without reasonable cause", practically meant the same thing. I am inclined to agree, though I should prefer to say that "arbitrarily" connotes "unreasonably" in the sense that what was done was done "without reasonable cause". In these circumstances I doubt whether "capriciously" adds anything, except perhaps to direct attention to the motivation of the respondent. In *Colvin v Bowen* (1958) 75 WN (NSW) 262, at p 264, Walsh J, speaking with reference to a provision that consent to an assignment of a tenancy should not be unreasonably withheld, after referring to the decisions culminating in *Houlder Bros & Co Ltd v Gibbs* [1925] Ch 575, said:

> According to the view thus preferred the grounds upon which a refusal may be based must be concerned either with the character and personality of the proposed assignee, or with matters affecting the use or occupation of the premises [610] which may result from the proposed assignment. The somewhat less narrow view, to which reference is made by

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> Sargant LJ in *Houlder's* Case [1925] Ch, at p 587, requires that the reason for refusal must be something affecting the subject matter of the contract which forms the relationship between the landlord and the tenant, and not something extraneous and dissociated from the subject matter of the contract. It appears to me to be clear from the judgments in the cases mentioned that the principles contained in those cases would exclude from consideration, as a ground for refusal of consent, the circumstance that the lessor desires to resume possession of the property in order to occupy it. Despite the critical remarks and the expressions of doubt to which those principles were subjected in *Tredegar v Harwood* [1929] AC 72, at pp 78, 82, the authority of *Houlder's* Case has been affirmed subsequently, and it must be regarded by me as binding in cases to which the principles it contains are applicable.

Approaching the contract in the present case in the light of these observations, I conclude that the respondent was not entitled to refuse to grant a lease to the appellant so as to deprive the appellant of a benefit which would otherwise accrue to it under the contract. A refusal on that ground would be capricious and arbitrary. On the other hand, a refusal on the ground that there were doubts that the appellant could or would pay the rent promptly would, if the ground were made out, not be capricious or arbitrary. I say "promptly" because the respondent as owner was entitled to look for a tenant who would not only pay the rent, but would pay it promptly and in accordance with the provisions of the lease. If the evidence established that the respondent entertained doubts, reasonably based, that the appellant would pay the rent promptly and without difficulty, then it was reasonable to refuse to grant the lease on that ground (*Tredegar v Harwood* [1929] AC 72, at p 81).

The findings of the primary judge make it clear that the respondent gave very careful consideration to the question whether the lease should be granted …. [Mason J accepted the finding of the trial judge that the refusal to grant the lease was not motivated by a desire to deprive the appellant of the payment of the final balance of the purchase price and that there were grounds for the respondent to refuse to grant the lease based on the appellant's ability to pay the rental.]

[A ground for criticism of the primary judge's conclusions] was that, had the respondent informed the appellant of its reasons for refusal, the appellant would have been in a position to furnish evidence of its financial position and thereby disabuse the respondent of its erroneous impression. Although there is much to be said for this argument, I do not think that it is correct.

It is important to recall that it was for the appellant to establish that the respondent's refusal was without reasonable cause. The relevant ground taken by the respondent was not that the appellant was financially unsound, but that there was sufficient doubt as to its financial soundness to justify the refusal of the lease. As I observed earlier, the refusal was not without reasonable cause if on the evidence, despite the appellant's soundness, the respondent entertained doubts, which were reasonably based, as to the appellant's willingness or ability to pay the rent promptly in accordance with the terms of the proposed lease. On the findings made by Connolly J and indorsed by the Full Court, the respondent had such doubts.

The only question is whether they were reasonably based. The history of the payments under the deed and the material contained in the mercantile report were quite sufficient to raise a real doubt as to the ability of the appellant to pay the rent promptly. The evidence does not show that the appellant, had it been given the opportunity of presenting evidence to the respondent, would have succeeded in painting a different picture. The truth of the matter was that the appellant would have been forced to disclose the unsatisfactory developments, referred to by Connolly J, which occurred in relation to its profits for the year ended 30th June 1973.

As the appellant has failed to show that the respondent had no reasonable ground for doubting the appellant's ability to pay the rent promptly, it has failed to show that the respondent's refusal to grant the lease was capricious or arbitrary.

I would therefore dismiss the appeal.

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[GIBBS, STEPHEN, and AICKIN JJ agreed with Mason J. BARWICK CJ similarly considered that, having regard to the findings concerning the purchaser's apprehension as to the financial capacity of the appellant to perform the obligations of the intended lease, its refusal to accept the vendor as a tenant was reasonable.]

Appeal dismissed.

Commonwealth Bank of Australia v Barker

[14.158] *Commonwealth Bank of Australia v Barker* [2014] HCA 32; (2014) 253 CLR 169 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: The employment of Mr Barker, an employee of the Commonwealth Bank of Australia (the *Bank*), was terminated for redundancy on 9 April 2009. On 2 March 2009, Mr Barker had been told that his position was to be made redundant and that if he was not redeployed within the Bank, which was the Bank's preference, his employment would be terminated approximately four weeks thereafter. He was required to work out the day, clear out his desk, hand in the keys and the mobile phone which the Bank had issued to him and not return to work. His access to his Bank email account, voicemail and the intranet were terminated.

Mr Barker was not informed about an alternative position within the Bank until 26 March 2009. He was not contacted by the recruitment consultant involved in facilitating the recruitment process for that position and the possibility of his being retrained for that position was not mentioned to him. The Bank employees involved in redeployment and the recruitment consultant were not aware that Mr Barker no longer had his Bank mobile phone or email address.

Mr Barker was paid the amount of retrenchment entitlements due to him under his employment contract. He sued the Bank, alleging that there were implied terms in his employment contract that the Bank would maintain trust and confidence with him and that it would not do anything likely to destroy or seriously damage the relationship of trust and confidence without proper cause. Mr Barker alleged that the Bank had acted in breach of those terms by failing to conduct the termination or redundancy process in a bona fide or proper manner; and that he had thereby lost a chance of redeployment.]

FRENCH CJ, BELL AND KEANE JJ:

Introduction

The employment relationship, in Australia, operates within a legal framework defined by statute and by common law principles, informing the construction and content of the contract of employment. This appeal raises the question whether, under the common law of Australia, there is a term of mutual trust and confidence to be implied by law in all employment contracts. For the reasons that follow, that implication is a step beyond the legitimate law-making function of the courts. It should not be taken. This appeal, against a decision of the Full Court of the Federal Court of Australia (*Commonwealth Bank of Australia v Barker* (2013) 214 FCR 450), which made the implication, should be allowed. …

The question on the appeal

[15] The primary question raised by the appeal is whether, under the common law of Australia, employment contracts contain a term that neither party will, without reasonable cause, conduct itself in a manner likely to destroy or seriously damage the relationship of trust and confidence between them. The answer to that question, being in the negative, is dispositive of the appeal. …

The implication of terms

[19] The common law in Australia must evolve within the limits of judicial power and not trespass into the province of legislative action. This Court and, to a lesser extent, intermediate appeal courts

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have a law-making function. That function can only be exercised as an incident of the adjudication of particular disputes. The first point of reference in its exercise is "the web of established legal principle" (McHugh, "The Judicial Method" (1999) 73 *Australian Law Journal* 37 at 48). As Brennan J said in *Dietrich v The Queen* (1992) 177 CLR 292 at 320:

> There must be constraints on the exercise of the power, else the courts would cross "the Rubicon that divides the judicial and the legislative powers".

[20] A judicial announcement of an obligation of mutual trust and confidence, to be applied as an incident of employment contracts and applicable to employers and employees alike, involves the assumption by courts of a regulatory function defined by reference to a broadly framed normative standard. Broadly framed normative standards are familiar to courts required to apply, in common law or statutory settings, criteria such as "reasonableness", "good faith" and "unconscionability". However, the creation of a new standard of that kind is not a step to be taken lightly. Where the standard is embodied in a new contractual term implied in law, the bases for the implication in law of contractual terms must be considered as the first point of reference.

[21] Courts have implied terms in contracts in a number of ways:

- in fact or ad hoc to give business efficacy to a contract (Such implications are made when the conditions set out in *BP Refinery (Westernport) Pty Ltd v Shire of Hastings* (1977) 180 CLR 266 at 283 per Lord Simon of Glaisdale, Viscount Dilhorne and Lord Keith of Kinkel are satisfied. These were conditions adopted by this Court in *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 at 605–606 per Mason J, Gibbs and Stephen JJ agreeing at 599, Aickin J agreeing at 615; [1979] HCA 51; see also *Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337 at 347 per Mason J, Stephen J agreeing at 344, Wilson J agreeing at 392, 404 per Brennan J; [1982] HCA 24);
- by custom in particular classes of contract (The custom or usage must be notorious, certain, legal and reasonable. See *Con-Stan Industries of Australia Pty Ltd v Norwich Winterthur Insurance (Australia) Ltd* (1986) 160 CLR 226, 236–237; *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410, 423–424 per Brennan CJ, Dawson and Toohey JJ, 440 per McHugh and Gummow JJ);
- in law in particular classes of contract; or
- in law in all classes of contract.

Contractual terms implied in law may be effected by the common law or by statute. If effected by the common law they may be displaced by the express terms of the contract or by statute.

[22] Implication of a term in fact in a contract, by reference to what is necessary to give it business efficacy, was described in *Codelfa Construction Pty Ltd v State Rail Authority of NSW* as raising issues "as to the meaning and effect of the contract" ((1982) 149 CLR 337 at 345 per Mason J, Stephen J agreeing at 344, Wilson J agreeing at 392). Implication is not "an orthodox exercise in the interpretation of the language of a contract, that is, assigning a meaning to a particular provision" ((1982) 149 CLR 337 at 345 per Mason J, Stephen J agreeing at 344, Wilson J agreeing at 392). It is nevertheless an "exercise in interpretation, though not an orthodox instance" ((1982) 149 CLR 337 at 345 per Mason J, Stephen J agreeing at 344, Wilson J agreeing at 392). The implication of terms in fact was also characterised in *Attorney General of Belize v Belize Telecom Ltd* [2009] 1 WLR 1988 as an exercise in construction. Lord Hoffmann, delivering the judgment of the Privy Council, said ([2009] 1 WLR 1988 at 1994 [22]):

> it is not enough for a court to consider that the implied term expresses what it would have been reasonable for the parties to agree to. It must be satisfied that it is what the contract actually means.

The distinction thus drawn is appropriate even though the scope of the constructional approach adopted by Lord Hoffmann has been debated (Hooley, "Implied Terms After *Belize Telecom*" (2014) 73 *Cambridge Law Journal* 315; Courtney and Carter, "Implied Terms: What *Is* the Role of Construction?" (2014) 31 *Journal of Contract Law* 151 at 160–163).

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[23] In *Codelfa*, the implication of a term in law was said to be based upon "more general considerations" than those covered by the concept of business efficacy ((1982) 149 CLR 337 at 345–346 per Mason J citing *Lister v Romford Ice and Cold Storage Co Ltd* [1957] AC 555 at 576 per Viscount Simonds and *Liverpool City Council v Irwin* [1977] AC 239 at 255 per Lord Wilberforce). That distinction attracted authoritative support in *Con-Stan Industries of Australia Pty Ltd v Norwich Winterthur Insurance (Australia) Ltd* (1986) 160 CLR 226 at 237.

[24] It has also been argued that some "terms" said to be implied in law are in fact rules of construction and that all implied "terms" of universal application fall into that category (Peden, "'Cooperation' in English Contract Law – to Construe or Imply?" (2000) 16 *Journal of Contract Law* 56 at 66–67). The application of that proposition to what has been treated as a contractual duty to cooperate is considered below. Debates about characterisation have attracted persuasive protagonists on both sides (Carter, *Contract Law in Australia*, 6th ed (2013) at 32–33 [2–19]; Seddon and Bigwood, *Cheshire and Fifoot Law of Contract*, 10th Aust ed (2012) at 461 [10.41]; Tolhurst, "Contractual Confusion and Industrial Illusion: A Contract Law Perspective on Awards, Collective Agreements and the Contract of Employment" (1992) 66 *Australian Law Journal* 705 at 716). They involve taxonomical distinctions which do not necessarily yield practical differences. Those debates are not concerned with the distinct question whether, and when, implication of a term is to be regarded as an exercise in the construction of a contract or class of contract.

[25] It has been accepted in this Court that some rules treated as implications of terms in law in particular classes of contract, or contracts generally, can also be characterised as rules of construction. Mason J, in *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 at 607, so characterised the principle enunciated by Lord Blackburn in *Mackay v Dick* (1881) 6 App Cas 251 at 263 – a characterisation evidently endorsed in *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410 at 448–449 per McHugh and Gummow JJ:

> where in a written contract it appears that both parties have agreed that something shall be done, which cannot effectually be done unless both concur in doing it, the construction of the contract is that each agrees to do all that is necessary to be done on his part for the carrying out of that thing, though there may be no express words to that effect. What is the part of each must depend on circumstances.

The language of Lord Blackburn was indicative of a rule of construction rather than of implication. Nevertheless, Mason J also referred to the rule as defining an implied "duty to co-operate" ((1979) 144 CLR 596 at 607).

[26] The majority in the Full Court of the Federal Court referred to the implied duty of cooperation as providing an "alternative approach" to the application of the implied duty of mutual trust and confidence ((2013) 214 FCR 450 at 466). Their Honours relied upon its formulation in *Secured Income* as one which "requires a party to a contract to do all things necessary to enable the other party to have the benefit of the contract" ((2013) 214 FCR 450 at 467 [121]). That obligation of cooperation required the Bank to take the positive steps necessary to enable Mr Barker to have the benefit of cl 8, which contemplated the possibility of redeployment within the Bank as an alternative to termination ((2013) 214 FCR 450 at 467 [126]–[128]). In opening that alternative approach, their Honours adverted to the suggestion by Lord Steyn in *Malik* [1998] AC 20 at 45 that the implied duty of mutual trust and confidence propounded in that case "probably has its origin in the duty of co-operation between contracting parties" ([1998] AC 20 at 45). As appears below, whatever the historical basis in the United Kingdom for the implied duty of mutual trust and confidence, it cannot be supported in this country as an expression or development of the implied duty of cooperation.

[27] As to the direct application of the implied duty of cooperation, the Bank submitted in this Court, as Jessup J had reasoned in his dissent, that there was no relevant contractual benefit with which the implied term could engage. Clause 8 conferred a benefit by way of a termination payment but did

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not confer a contractual entitlement to the benefit of the Redeployment Policy. The submission made on behalf of Mr Barker that "the prospect of … redeployment was a benefit in the relevant sense" should not be accepted.

[28] An implication in law may have evolved from repeated implications in fact. As Gaudron and McHugh JJ observed in *Breen v Williams* (1996) 186 CLR 71some implications in law derive from the implication of terms in specific contracts of particular descriptions, which become "so much a part of the common understanding as to be imported into all transactions of the particular description" ((1996) 186 CLR 71 at 103 quoting *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410 at 449 per McHugh and Gummow JJ). The two kinds of implied terms tend in practice to "merge imperceptibly into each other" ((1996) 186 CLR 71 at 103 quoting Glanville Williams, "Language and the Law – IV" (1945) 61 *Law Quarterly Review* 384 at 401). That connection suggests, as is the case, that the "more general considerations" informing implications in law are not so remote from those considerations which support implications in fact as to be at large. They fall within the limiting criterion of "necessity", which was acknowledged by both parties to this appeal. The requirement that a term implied in fact be necessary "to give business efficacy" to the contract in which it is implied can be regarded as a specific application of the criterion of necessity. The present case concerns an implied term in law where broad considerations are in play, which are not at large but are not constrained by a search for what "the contract actually means."

[29] In *Byrne v Australian Airlines Ltd*, McHugh and Gummow JJ emphasised that the "necessity" which will support an implied term in law is demonstrated where, absent the implication, "the enjoyment of the rights conferred by the contract would or could be rendered nugatory, worthless, or, perhaps, be seriously undermined" ((1995) 185 CLR 410 at 450) or the contract would be "deprived of its substance, seriously undermined or drastically devalued" ((1995) 185 CLR 410 at 453. See also *Jarratt v Commissioner of Police (NSW)* (2005) 224 CLR 44 at 68 [78] per McHugh, Gummow and Hayne JJ; [2005] HCA 50). The criterion of "necessity" in this context has been described as "elusive" (*Crossley v Faithful & Gould Holdings Ltd* [2004] ICR 1615 at 1627 [36]) and the suggestion made that "there is much to be said for abandoning" (Peel, *Treitel: The Law of Contract*, 13th ed (2011) at 231 [6-043]) the concept. Necessity does, however, remind courts that implications in law must be kept within the limits of the judicial function. They are a species of judicial law-making and are not to be made lightly. It is a necessary condition that they are justified functionally by reference to the effective performance of the class of contract to which they apply, or of contracts generally in cases of universal implications, such as the duty to cooperate. Implications which might be thought reasonable are not, on that account only, necessary (*University of Western Australia v Gray* (2009) 179 FCR 346 at 376–377 [139]–[142]). The same constraints apply whether or not such implications are characterised as rules of construction.

The implied term of mutual trust and confidence in the United Kingdom

[30] Employment contracts have attracted a number of implied terms in the course of the evolution of the employment relationship. All such terms are subject to the express provisions of the particular contracts and any applicable statutes. They include an implied duty imposed on the employer to provide the employee with a safe system of work (*Koehler v Cerebos (Australia) Ltd* (2005) 222 CLR 44 at 53 [19] per McHugh, Gummow, Hayne and Heydon JJ; [2005] HCA 15) and to give reasonable notice of the termination of the contract other than for breach (*Byrne v Australian Airlines Ltd* (1995) 185 CLR 410 at 423, 429 per Brennan CJ, Dawson and Toohey JJ). An employee has an implied duty of fidelity to the employer not to engage in conduct which "impedes the faithful performance of his obligations, or is destructive of the necessary confidence between employer and employee" (*Blyth Chemicals Ltd v Bushnell* (1933) 49 CLR 66 at 81 per Dixon and McTiernan JJ; [1933] HCA 8). That duty may derive from the fiduciary obligations which employees owe to their employers, albeit those obligations have "different conceptual origins" from the contractual obligations (*Concut Pty Ltd v Worrell* (2000) 75 ALJR 312 at 317–318 [25]–[26] per Gleeson CJ, Gaudron and Gummow JJ; 176 ALR 693 at 700–701). Relevantly, the employment contract, in common with contracts generally, attracts the duty to cooperate enunciated by Lord Blackburn in *Mackay v Dick* (1881) 6 App Cas 251

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at 263, recognised in *Butt v M'Donald* (1896) 7 QLJ 68 at 70–71 per Griffith CJ, although expressed expansively as encompassing all things that are necessary to enable the other party to have the benefit of the contract. See also *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 at 607 per Mason J. It may also be noted that in the employment law of the United States there has been recognised an implied obligation which, though it "does not lend itself to precise definition … requires at a minimum that an employer not impair the right of an employee to receive the benefits of the employment agreement" (*Jones v Central Peninsula General Hospital* 779 P 2d 783 at 789 (1989). See also *Metcalf v Intermountain Gas Co* 778 P 2d 744 at 749 (1989); *Wieder v Skala* 609 NE 2d 105 at 109 (1992)).

[31] The submissions to the Court in this case focussed upon the question whether the proposed implied term of mutual trust and confidence was "necessary" in the sense that without it, the rights conferred by the Agreement could or would be rendered nugatory or worthless, or seriously undermined. Mr Barker relied substantially upon the decision of the House of Lords in *Malik*.

[32] The implied term of mutual trust and confidence in employment contracts in the United Kingdom arose out of what Professor Mark Freedland has described as "a highly context-specific and instrumental body of case law" (Freedland, *The Personal Employment Contract* (2003) at 155). Its development may be traced back to the enactment of a constructive dismissal provision in labour relations legislation in 1974 (*Trade Union and Labour Relations Act 1974* (UK), Sched 1, par 5(2)(c), now s 95(1)(c) of the *Employment Rights Act 1996* (UK)). In a seminal decision for that development, the Court of Appeal in *Western Excavating (ECC) Ltd v Sharp* [1978] QB 761 held that whether an employee was entitled to terminate employment by reason of the employer's conduct, and be treated as having been dismissed, was to be determined in accordance with the law of contract ([1978] QB 761 at 770 per Lord Denning MR, Eveleigh LJ agreeing at 773). It was not to be determined merely by reference to the unreasonableness of the employer's conduct. The contractual test for constructive dismissal, as accepted by the Court of Appeal, required the employer to be guilty of conduct constituting a significant breach going to the root of the contract of employment, or which showed that the employer no longer intended to be bound by one or more of the essential terms of the contract ([1978] QB 761 at 769–770 per Lord Denning MR, Eveleigh LJ agreeing at 773). After the decision in *Western Excavating*, the Employment Appeal Tribunal implied the term of mutual trust and confidence to meet the contractual test. In the leading decision, *Courtaulds Northern Textiles Ltd v Andrew* [1979] IRLR 84, the implication, apart from one aspect of its wording, was not in dispute ([1979] IRLR 84 at 85).

[33] Professor Freedland described what happened after *Western Excavating* as (Freedland, *The Personal Employment Contract* (2003) at 155):

> a process of formulation of implied terms, which were in effect back-formations, in the sense that they were terms the breach of which would amount to expulsive or repudiatory conduct sufficient to constitute constructive dismissal by the employer. It was in this particular crucible that the implied term as to mutual trust and confidence was formed.

It was the case, however, that before the decision of the Court of Appeal, tribunals and courts in the United Kingdom had begun to formulate the test of constructive dismissal in terms of conduct by an employer rupturing the employee's trust or confidence in the employment relationship, a test applied by those who envisaged it as contractual or as a broader based test (Freedland, *The Personal Employment Contract* (2003) at 155). In the event, the implied term became, by the mid-1980s, "an orthodox tenet of the law of constructive unfair dismissal" (Freedland, *The Personal Employment Contract* (2003) at 156). That was the position in courts, other than the House of Lords, when *Malik* was decided.

[34] In *Malik*, the employer bank had carried on its business "dishonestly and corruptly" ([1998] AC 20 at 34 per Lord Nicholls). Former employees of the bank sued its provisional liquidators for damages for the stigma attaching to them by reason of their prior employment association with it. Lord Nicholls held that the bank was under an implied obligation to its employees not to conduct a

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dishonest or corrupt business ([1998] AC 20 at 34–35). That obligation was said to be a particular aspect of the general obligation imposed by the implied term ([1998] AC 20 at 35):

> not to engage in conduct likely to undermine the trust and confidence required if the employment relationship is to continue in the manner the employment contract implicitly envisages.

Although *Malik* was the first occasion on which the implied term was considered by the House of Lords, it appears to have been treated by their Lordships as a *fait accompli*. Lord Nicholls described it as a useful tool, well established in employment law ([1998] AC 20 at 39). Lord Steyn, who wrote the leading judgment, proceeded, like Lord Nicholls, upon the basis that the implied term was established as a standard term implied by law as an incident of all contracts of employment, albeit he described it as "a comparatively recent development" which probably had its origin "in the general duty of co-operation between contracting parties" ([1998] AC 20 at 45). His Lordship said ([1998] AC 20 at 46):

> The evolution of the implied term of trust and confidence is a fact. It has not yet been endorsed by your Lordships' House. It has proved a workable principle in practice. It has not been the subject of adverse criticism in any decided cases and it has been welcomed in academic writings. I regard the emergence of the implied obligation of mutual trust and confidence as a sound development.

The implication in Australia

[35] The conclusion reached by the House of Lords in *Malik* must be understood in the context of the existing body of decisions made by the courts and tribunals of the United Kingdom, reflecting a consensus as to the implication which predated *Malik* (See eg *Courtaulds Northern Textiles Ltd v Andrew* [1979] IRLR 84; *Woods v WM Car Services (Peterborough) Ltd* [1981] ICR 666; *Imperial Group Pension Trust Ltd v Imperial Tobacco Ltd* [1991] 1 WLR 589. See generally Lindsay, "The Implied Term of Trust and Confidence" (2001) 30 *Industrial Law Journal* 1). The history of the development of the term in the United Kingdom is not applicable to Australia. There is a background of approving references to the implied term in decisions of Australian State and federal courts (See eg *Burazin v Blacktown City Guardian Pty Ltd* (1996) 142 ALR 144; *Perkins v Grace Worldwide (Aust) Pty Ltd* (1997) 72 IR 186; *Irving v Kleinman* [2005] NSWCA 116; *Delooze v Healey* [2007] WASCA 157; *Shaw v New South Wales* (2012) 219 IR 87). The strength of those approving references, however, depends upon the analysis underpinning them. In *South Australia v McDonald*, decided in 2009, the Full Court of the Supreme Court of South Australia observed that, with the exception of two first instance decisions, none of the Australian authorities to that date had "addressed in any detail the basis for the implication of the implied term" ((2009) 104 SASR 344 at 388 [227]). In that case, the Full Court concluded that the extensive statutory and regulatory context in which the contract in question operated rendered the implied term unnecessary ((2009) 104 SASR 344 at 398 [270]). In an obiter statement, their Honours acknowledged that it had long been recognised in Australia that contracts of employment involve "elements of mutual confidence."((2009) 104 SASR 344 at 385 [215]) They related the development of the implied term to a contemporary view of the employment relationship as one of common interests and partnership ((2009) 104 SASR 344 at 389 [231]).

[36] There have been passing references to the duty in two decisions of this Court, neither of which constituted a determination that the duty should be implied (*Concut Pty Ltd v Worrell* (2000) 75 ALJR 312 at 322 [51] per Kirby J; 176 ALR 693 at 706; *Koehler v Cerebos (Australia) Ltd* (2005) 222 CLR 44 at 55 [24] per McHugh, Gummow, Hayne and Heydon JJ). In the end, while taking appropriate note of the decisions of State and federal courts, this Court must determine the existence of the implied duty by reference to the principles governing implications of terms in law in a class of contract. That requires this Court to determine whether the proposed implication is "necessary" in the sense that would justify the exercise of the judicial power in a way that may have a significant impact upon employment relationships and the law of the contract of employment in this country. The broad concept of "necessity" discussed earlier in these reasons may be defined by reference to what "the nature of the contract itself implicitly requires" (*Liverpool City Council v Irwin* [1977] AC 239 at 254

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per Lord Wilberforce). It may be demonstrated by the futility of the transaction absent the implication (*Liverpool City Council v Irwin* [1977] AC 239 at 255 per Lord Wilberforce citing *Miller v Hancock* [1893] 2 QB 177 at 181 per Bowen LJ). It is not satisfied by demonstrating the reasonableness of the implied term (*University of Western Australia v Gray* (2009) 179 FCR 346 at 376 [139] and authorities there cited).

[37] The duty to cooperate satisfies the criterion of necessity explained in *Byrne*. The implied term of mutual trust and confidence, however, imposes mutual obligations wider than those which are "necessary", even allowing for the broad considerations which may inform implications in law. It goes to the maintenance of a relationship. It appears, at least in part, to be informed by a view of the employment contract as "relational", a characteristic of uncertain application in this context and not one which was advanced on behalf of Mr Barker. The implied term cannot be treated as a particular application to employment contracts of the duty to cooperate, which applies to contracts generally. That duty is directly related to contractual performance, which explains to some degree why it can arguably be characterised as a rule of construction.

[38] The duty of mutual trust and confidence is proposed in this appeal as an implication apposite to the disposition of a particular dispute in which an employee complains of an employer's conduct. Yet it is an implication which would impose obligations not only on employers but also on employees, whose voices about that consequence of the implication are not heard in this appeal. Neither party had a direct interest in putting submissions to the Court about the burden the implication might place on employees. While the mutuality of an obligation and its effect upon a range of interests is not a bar to its implication, it locates the propounded implication close to the boundary between judicial law-making and that which is within the province of the legislature.

[39] The need for a cautious approach to the implication is underlined by the observation in the fourth edition of Deakin and Morris's *Labour Law*, that "[i]n its most far-reaching form [the development of the implied term] could be said to mark an extension of the duty of co-operation 'from the restricted obligation not to prevent or hinder the occurrence of an express condition upon which performance of the contract depends to a positive obligation to take all those steps which are necessary to achieve the purposes of the employment relationship …'." (Deakin and Morris, *Labour Law*, 4th ed (2005) at 335 [4.91] quoting Hepple, *Hepple & O'Higgins: Employment Law*, 4th ed (1981) at 135). That extension was said to reflect a broader functional view, essentially a tribunal's view, of good industrial relations practice, embracing not only the material conditions of employment such as pay and safety, but also the psychological conditions which are essential to the performance by an employee of his or her part of the bargain (Deakin and Morris, *Labour Law*, 4th ed (2005) at 335 [4.91] quoting Hepple, *Hepple & O'Higgins: Employment Law*, 4th ed (1981) at 135).

[40] The complex policy considerations encompassed by those views of the implication mark it, in the Australian context, as a matter more appropriate for the legislature than for the courts to determine. It may, of course, be open to legislatures to enshrine the implied term in statutory form and leave it to the courts, according to the processes of the common law, to construe and apply it. It is a different thing for the courts to assume that responsibility for themselves. The mutual aspect of the obligation cannot be put to one side by characterising its operation with respect to employees as merely a restatement of the existing duty of fidelity. It is more broadly worded than that obligation. As Jessup J observed in his dissenting judgment in the Full Court, the proposed implied duty of mutual trust and confidence might apply to conduct by employees which was neither intentional nor negligent and did not breach their implied duty of fidelity, but objectively caused serious disruption to the conduct of their employer's business ((2013) 214 FCR 450 at 518 [304]).

[41] Importantly, the implied duty of trust and confidence as propounded in *Malik* is directed, in broad terms, to the relationship between employer and employee rather than to performance of the contract. It depends upon a view of social conditions and desirable social policy that informs a transformative approach to the contract of employment in law. It should not be accepted as applicable, by the judicial branch of government, to employment contracts in Australia.

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[42] The above conclusion should not be taken as reflecting upon the question whether there is a general obligation to act in good faith in the performance of contracts. Nor does it reflect upon the related question whether contractual powers and discretions may be limited by good faith and rationality requirements analogous to those applicable in the sphere of public law (See eg Paterson, "Implied Fetters on the Exercise of Discretionary Contractual Powers" (2009) 35 *Monash University Law Review* 45 at 59, 73). Those questions were not before the Court in this appeal.

[43] Mr Barker also sought to support the decision of the Full Court by way of a notice of contention and the submission that the term of mutual trust and confidence should be implied as a matter of fact in the Agreement. For the reasons already given, the term did not answer the criterion of necessity required to support its implication in law in employment contracts generally. Mr Barker's counsel was unable to point to any particular feature of the Agreement that would support its implication in fact, albeit he referred to Mr Barker's seniority, his long and distinguished career with the Bank, and the silence of the contract on matters of trust and confidence. The submission in support of an implication in fact must be rejected.

Conclusion

[44] There was a conceded entitlement to damages in favour of Mr Barker of $11,692.31 together with interest based upon a breach of cl 6 of the Agreement found by the primary judge. The Bank gave an undertaking at the special leave hearing that it would pay Mr Barker's costs of the application for special leave and the appeal and not seek costs against him if successful in the appeal, nor would it seek to disturb costs orders made below which were favourable to him.

[KIEFEL and GAGELER JJ delivered separate judgments allowing the appeal.]

Appeal allowed.

Good faith in the exercise of discretionary contractual powers

[14.160] Courts commonly equate the duty of good faith with a duty of reasonableness in exercising a discretionary power, see for example, *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234, extracted at [14.80]. A related, but probably narrower requirement is that a party is not to act for an extraneous or improper purpose. Courts have emphasised that good faith or reasonableness does not prevent a party from having regard to his or her own legitimate interests in exercising a discretionary power under a contract.

Reasonableness

[14.165] On what reasonableness in the exercise of contractual powers might require, see *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234, at [14.80] and *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 at [14.155].

Extraneous purpose

[14.170] In *Alcatel v Scarcella* [1998] 44 NSWLR 349, 368, Sheller JA (with whom Powell JA and Beazley JA agreed) in discussing the implied duty of good faith, said:

> If a contract confers power on a contracting party wider than necessary for the protection of the legitimate interests of that party, the courts may interpret the power as not extending to the

> action proposed by the party in whom the power is vested or, alternatively, conclude that the powers are being exercised in a capricious or arbitrary manner or for an extraneous purpose, which is another way of saying the same thing.

This standard looks to the motive of a party in exercising contractual powers, as illustrated in *Burger King Corporation v Hungry Jack's Pty Ltd* [2001] NSWCA 187; (2001) 69 NSWLR 558, at [14.175] and *Trampoline Enterprises Pty Ltd v Fresh Retailing Pty Ltd* [2019] VSCA 74. Presumably courts should take account of the intentions of the parties as to the scope of their contract when assessing whether a purpose is extraneous to the contract.

Burger King Corporation v Hungry Jack's

[14.175] *Burger King Corporation v Hungry Jack's Pty Ltd* [2001] NSWCA 187; (2001) 69 NSWLR 558 (Supreme Court of New South Wales, Court of Appeal) – Appeal from a decision of Rolfe J.

[FACTS: At the time of the trial Burger King Corp (BKC) conducted a worldwide franchised fast-food system which was the second largest of such fast-food chains in the world, after McDonald's. BKC had nearly 9,000 restaurants worldwide which it conducted primarily through a uniform franchise system, although operating a small proportion of restaurants itself. Hungry Jack's Pty Ltd (HJPL) was a company within the Competitive Foods Group of companies, which operated a number of fast-food restaurant outlets, including Kentucky Fried Chicken and Domino's Pizza. HJPL was operating 148 Hungry Jack's restaurants, and had paid royalties to BKC exceeding $20 million over the six-year period from November 1990 until November 1996. In 1973, BKC and HJPL entered into a number of formal franchise agreements. Under these arrangements, HJPL operated restaurants under the name "Hungry Jack's" but used the BKC system and trademarks for operating those restaurants.

In 1990, after several years of disputes the parties entered into four agreements, including the *Development Agreement*, which, together with the individual franchise agreements in respect of each of HJPL's Hungry Jack's stores, governed the contractual relationship of the parties. Under the Development Agreement HJPL had an unrestricted, non-exclusive right to develop restaurants throughout Australia. HJPL was also required to develop a total of at least four restaurants per year in Western Australia, South Australia and Queensland. In complying with the Development Agreement HJPL was required to obtain individual franchises for each restaurant developed under the Agreement. This in turn involved obtaining certain approvals, namely operational, financial and legal approval, for each newly developed restaurant. Clause 4 of the Development Agreement provided that the approvals were at the "sole discretion" of BKC. The clause also specified a number of matters relevant to those approvals. From at least 1993, BKC determined to take a more active role in the Australian market, including buying out HJPL or making it the minority party in some form of joint venture arrangement. It also had discussions with other parties with the same intent, namely, of reducing HJPL's role in the Australian market.

There were continuing disputes between the parties. From the end of March 1995, Jim Montgomery, HJPL's National Development Manager, began communicating directly with BKC, providing information, advice and recommendations. BKC utilised Montgomery's assistance for its benefit to the detriment of HJPL up until after the proceedings were commenced. In 1995, BKC imposed a freeze on HJPL recruiting third party franchisees. It also withdrew financial and operational approval from HJPL. The effect of these actions was to impede HJPL's development of new outlets as required by the Development Agreement. On 18 November 1996, BKC served a Notice of Termination of the Development Agreement, alleging a failure by HJPL to develop the required number of stores as specified in cl 2.1 of the Development Agreement.

In November 1996, HJPL commenced proceedings against BKC. The trial judge found in favour of HJPL and awarded damages. BKC appealed. The following extract deals with the alleged breaches by BKC of certain implied terms.]

SHELLER, BEAZLEY AND STEIN JJA: …

Burger King Corporation v Hungry Jack's cont.

Implied terms

[141] HJPL claimed that there were implied into the Development Agreement terms: that BKC would do all that was reasonably necessary to enable HJPL to enjoy the benefits of, inter alia, the Development Agreement (the implied term of co-operation); that BKC must act reasonably in exercising its powers under the Development Agreement; and that there was an implied obligation on BKC to act in good faith in the exercise of its contractual powers. [142] Rolfe J held that these terms could be implied and that there had been a breach of each of the implied terms. His Honour concluded that the consequence of BKC being in breach was that HJPL was "dispensed … of the necessity to continue performance". His Honour also held: "in the absence of [a] factual justification there would be no basis [for BKC] to exercise the sole … discretion [under cl 4.1 of the Development Agreement]." [143] BKC disputed that there were implied terms of reasonableness and good faith and also disputed that it was in breach of any of the implied terms as found by Rolfe J …. [144] The implication of the implied term of co-operation was not controversial nor a matter in dispute between the parties: see *Mackay v Dick* (1881) 6 App Cas 251 where Lord Blackburn stated at 263 that:

> as a general rule, … where in a written contract it appears that both parties have agreed that something shall be done, which cannot effectually be done unless both concur in doing it, the construction of the contract is that each agrees to do all that is necessary to be done on his part for the carrying out of that thing, though there may be no express words to that effect.

[145] In relation to the second and third of these terms Rolfe J held that he was bound by decisions of this Court: "to hold that there is an implied term of either reasonableness or a duty of good faith or, perhaps both." …

[The Court referred to the judgments of the court in *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234 and *Alcatel Australia Ltd v Scarcella & others* (1998) 44 NSWLR 349, and of Finn J in *Hughes Aircraft Systems International v Airservices Australia* (1997) 76 FCR 151.]

[159] A review of cases since Alcatel indicates that courts in various Australian jurisdictions have, for the most part, proceeded upon an assumption that there may be implied, as a legal incident of a commercial contract, terms of good faith and reasonableness. For example, in *Far Horizons Pty Ltd v McDonald's Australia Ltd* [2000] VSC 310 Byrne J, in dealing with the provisions of a standard licence agreement whereby independent operators were licensed to conduct McDonald's fast food stores, said at para 120:

> … I do not see myself at liberty to depart from the considerable body of authority in this country which has followed the decisions of the New South Court of Appeal in *Renard Construction (ME) Pty Ltd v Minister for Public Works*. I proceed, therefore, on the basis that there is to be implied in a franchise agreement a term of good faith and fair dealing which obliges each party to exercise the powers conferred upon it by the agreement in good faith and reasonably, and not capriciously or for some extraneous purpose. Such a term is a legal incident of such a contract. [160]

In *Garry Rogers Motors (Aust) Pty Ltd v Subaru (Aust) Pty Ltd* (1999) ATPR 41-703, which involved a standard form motor vehicle dealership agreement, Finkelstein J said at 43,014:

> The first respondent was prepared to accept the implication of [a term of good faith] in the dealership agreement for the purposes of the interlocutory application. It could hardly do otherwise. Recent cases make it clear that in appropriate contracts, perhaps even in all commercial contracts, such a term will ordinarily be implied; not as an ad hoc term (based on the presumed intention of the parties) but as a legal incident of the relationship; see *Renard v Constructions (Vic) Pty Ltd v Minister for Public Works*; *Hughes Bros Pty Ltd v The Trustees of the Roman Catholic Church for the Archdiocese of Sydney & Anor*; *Alcatel Australia Ltd v Scarcella & Ors*.

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> If such a term is implied it will require a contracting party to act in good faith and fairly, not only in relation to the performance of a contractual obligation, but also in the exercise of a power conferred by the contract. There is no reason to think, prima facie at least, that the obligation of good faith and fair dealing would not act as a restriction on a power to terminate a contract, especially if that power is in general terms.

[161] In *Saxby Bridge Mortgages Pty Ltd v Saxby Bridge Pty Ltd* [2000] NSWSC 433, Simos J rejected the implication of a term of good faith in an agreement, inter alia, for the provision of mortgage services. However, his Honour approached the question on the basis of whether the conditions necessary for the implication of a term, ad hoc, had been satisfied. He does not appear to have considered whether such a term was a necessary legal incident of the contract. *Saxby Bridge* appears to stand on its own in this regard.

[162] In *Asia Television Ltd v Yau's Entertainment Pty Ltd* (2000) 48 IPR 283 Gyles J stated that the implication of a term to act in good faith in a licence agreement, in which the second applicant licensed entertainment programmes for reproduction and distribution by the respondent, and the scope and content of such a clause were "controversial questions". Without finally determining whether there were such implied terms, his Honour held that there was no relevant application of such an obligation on the facts of that case. [163] This necessarily brief survey of the case law post *Alcatel* indicates that obligations of good faith and reasonableness will be more readily implied in standard form contracts, particularly if such contracts contain a general power of termination. Clearly, however, the cases where these terms are to be implied are not limited to standard form agreements. *Alcatel* itself, which involved a 50-year lease agreement of commercial premises, provides an example of a one off contract where such terms were implied.

[164] There also appears to be increasing acceptance (*Saxby Bridge* aside) that if terms of good faith and reasonableness are to be implied, they are to be implied as a matter of law. We consider that to be correct. The argument by Mr Archibald, senior counsel for BKC, proceeded on that basis. He submitted, however, that the pre-conditions for the implication of a term at law had not been satisfied in this case, and that the implication was unnecessary as the contract comprehensively dealt with the rights of the parties. This raises the question of when a term will be implied at law.

[165] Traditionally, specific terms have been implied as a matter of law into contracts of a certain class. Examples include contracts between employer/employee (implied term not to disclose secret processes), for the sale of goods (implied terms of reasonable fitness and merchantable quality and that payment and delivery of goods are concurrent obligations), for the provision of work and materials, between landlord and tenant (implied term that premises will be reasonably fit for habitation) and in contracts of carriage by sea (an implied warranty of seaworthiness): see *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410 at 448; *Castlemaine Tooheys Ltd v Carlton & United Breweries Ltd* (1987) 10 NSWLR 468 at 487; Professor Glanville Williams, "Language and the Law" (1945) 61 *Law Quarterly Review* 403. Of course, some of these are implications now codified by statute: for example, contracts for sale of goods under the *Sale of Goods Act 1923* (NSW).

[166] The Development Agreement does not fall into any of the traditional class of cases where terms have been implied as an incident of the contract.

[167] For a term to be implied at law in a new category of case, it must be both reasonable and necessary: see *Castlemaine Toohey* and *Byrne*. In *Byrne*, McHugh and Gummow JJ explained the meaning of necessity in this context. They said at 450:

> Many of the terms now said to be implied by law in various categories of case reflect the concern of the courts that, unless such a term be implied, the enjoyment of the rights conferred by the contract *would or could be rendered nugatory, worthless, or, perhaps, be seriously undermined*. Hence, the reference in the decisions to "necessity" ….
>
> This notion of "necessity" has been crucial in the modern cases in which the courts have implied for the first time a new term as a matter of law. (Emphasis added)

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[168] It is within the framework of that notion of necessity that we consider in detail the submissions of each of the parties as to whether there should be implied into the Development Agreement the terms of good faith and reasonableness. Before doing so however, it is convenient to understand what is involved in those terms if they are implied.

Meaning of good faith and reasonableness

[14.180] [169] We have already touched upon this: see especially from para 146. However, it is worth noting that the Australian cases make no distinction of substance between the implied term of reasonableness and that of good faith. As Priestley JA said in *Renard* at 263: "The kind of reasonableness I have been discussing seems to me to have much in common with the notions of good faith".

[170] Priestley JA commented further at 265 that: "… in ordinary English usage there has been constant association between the words fair and reasonable. Similarly there is a close association of ideas between the terms unreasonableness, lack of good faith and unconscionability."

[171] Rolfe J observed that in *Alcatel*, Sheller JA at 369 appeared to equate the notions of "reasonableness" and "good faith". Whilst Sheller JA did not say that in terms, his review of the case law and academic and extra-judicial writings on the topic, clearly support the proposition. In addition to his references to *Renard*, Sheller JA referred to the statement of Sir Anthony Mason in his 1993 Cambridge Lecture, that it was probable that the concept of good faith "embraced no less than three related notions":

(1) an obligation on the parties to co-operate in achieving the contractual objects (loyalty to the promise itself);

(2) compliance with honest standards of conduct; and

(3) compliance with standards of contract which are reasonable having regard to the interests of the parties.

[172] In *Garry Rogers*, Finkelstein J considered at 43,014 that such a term imposed an obligation on a party "not to act capriciously". He pointed out, however, that such a term will not restrict a party acting so as to promote its own "legitimate interests". As his Honour explained, "provided the party exercising the power acts reasonably in all the circumstances the duty to act fairly and in good faith will ordinarily be satisfied".

[173] The same point was made in *Kham & Nates Shoes (No 2) Inc v First Bank of Whiting* (1990) 908 F 2d 1351, at 1357, that "[p]rinciples of good faith … do not block use of terms that actually appear in the contract". There must be something more. This was explained in *Metropolitan Life Insurance Co v RJR Nabisco Inc* (1989) 716 F Supp 1504, at 1517:

> In other words, the implied covenant will only aid and further the explicit terms of the agreement and will never impose an obligation "which would be inconsistent with other terms of the contractual relationship" … Viewed another way, the implied covenant of good faith is breached only when one party seeks to prevent the contract's performance or to withhold its benefits …. As a result, it thus ensures that parties to a contract perform the substantive, bargained-for terms of their agreement.

See also *Rio Algom Corp v Jimco Ltd* (1980) Utah, 618 P 2d 497.

[174] BKC submitted that there should not be implied into the Development Agreement implied terms of reasonableness or good faith (or any hybrid of the two). It raised two general objections to the implication of such terms. First, it was said that caution should be exercised in implying any such terms, as "such terms are calculated to subvert and distort the carefully negotiated and articulated contractual balance which the parties have achieved".

[175] Secondly, it was submitted that such a term should not be implied where the application would occasion contradiction of, or friction with, express provisions of the contract: see for example *Metropolitan Life Insurance Co v RJR Nabisco Incorporated*. It was submitted that His Honour erred in

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not asking whether there would be such contradiction or friction. It was then submitted that as the express provisions of the Development Agreement "comprehensively and exhaustively delineate the rights and obligations of the parties [they] cover the field" and any implied term of reasonableness or good faith would "pro tanto" be inconsistent. The provisions of cl 4.1(a) and cl 4.2 were said to demonstrate this point. [176] Those clauses, it was submitted, established an "objective benchmark against which the grant or withholding of operational approval" was to be made. It was submitted that "[t]he introduction of a generalised qualification of reasonableness to that subject matter would alter the expressly formulated benchmark and … effect a substantive modification to the operation of the express term". We understand this submission to mean that the objective benchmarks were the need to have operational, financial and legal approval as defined in cl 4.2. This submission is acceptable in so far as it goes. However, it does not grapple with two fundamental issues. First, the granting of operational, financial and legal approval is within "the sole discretion" of BKC. If full force is given to that concept, it would allow BKC to give or to withhold relevant approval "at its whim" including capriciously, or with the sole intent of engineering a default of the Development Agreement, giving rise to a right to terminate. That is hardly the language of objectivity. The point is well illustrated by the observations of Priestley JA in *Renard* at 258 [see above, p 466] ….

[177] Secondly, on BKC's submission, an exercise of discretion on wrong facts fell within the ambit of cl 4.1 provided that the wrong facts were not fraudulently determined. That too would permit BKC to effectively put an end to HJPL's valuable development rights under the Development Agreement for reasons which could not be justified on the facts if they were accurately ascertained. In our opinion, applying the words used by McHugh and Gummow JJ in *Byrne*, the "enjoyment of the rights conferred by the contract would or could be rendered nugatory, worthless or perhaps seriously undermined" if the clause was able to operate in the manner for which BKC contended.

[178] BKC sought to resist this result by submitting that the clause remained workable without the implication, as a fraudulent exercise of the discretion would not satisfy the clause (which is correct) and that de minimis breaches would not permit an exercise of discretion against the grant of approval. In regard to the latter point, it was submitted that whilst de minimis contraventions of operation or financial requirements were simply "to be disregarded", minor breaches were not.

[179] On HJPL's construction of cl 4.1, the matters specified in subcl (a), subcl (b) and subcl (c) operate as conditions precedent to grant of approval to a franchise application. HJPL submitted, however, that the criteria for operational approval were wide and indefinite in two respects.

[180] First, cl 4.1(a) required that the interior and exterior of restaurants be maintained to reflect "an acceptable Burger King image". Mr Bathurst, senior counsel for HJPL, sought to demonstrate this point by reference to the requirement to comply with the standard specifications and procedures contained in BKC's Manual of Operating Data. The manual contains the most detailed requirements relating to every aspect of operating a Burger King restaurant from food handling to recruiting, cleaning and manner and style of service. Page five of the Service Procedure Requirements provides an example. It sets out a nine phase service procedure starting with the first requirement "smile greet and order" and ending with the "smile thank you and parting phrase" such as "thanks very much, have a great day" or "thanks for coming, hope to see you again soon". Senior counsel submitted it would be impossible not to find at least one operational breach in each restaurant, so that, unless some restriction was placed upon the operation of cl 4.1 the rights under the Development Agreement would be illusory.

[181] Secondly, it confers upon BKC the right to change its standards, specifications and procedures at its sole discretion. It would appear to follow, on this submission, that it could do so without notice to HJPL, there being no contractual obligation to give notice of the change, unless the provision was conditioned by an obligation of reasonableness or good faith.

[182] Senior counsel further submitted that BKC's response that a de minimis breach would not disqualify a contracting party from operational approval did not provide an adequate answer to this problem because of the uncertainty that this would otherwise import into the operation of the clause.

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Rather, it was necessary to imply the terms of reasonableness and good faith so as to ensure that HJPL had the contractual benefits to which it was entitled under the Development Agreement.

[183] In our opinion, HJPL's submission must be correct. There is such an extraordinary range of detailed considerations, particularly in relation to whether operational requirements have been satisfied, contained within cl 4.1(a), that unless there was an implied requirement of reasonableness and good faith, BKC could, for the slightest of breaches, bring to an end the very valuable rights which HJPL had under the Development Agreement. Further, contrary to BKC's submissions, cl 4 does not contain only objective criteria against which the discretion is to be exercised. There are many subjective, evaluative notions involved. The reflection of "an acceptable Burger King image" is one example. Senior counsel's example is another. [184] The meaning of cl 4.1(b) provides further support for the implication of these terms. That clause requires that for the purposes of financial approval, HJPL's stores must all be performing their obligations under their individual franchise agreements and HJPL must not be in default of any of its financial obligations to BKC. These two criteria qualify as objective benchmarks against which to grant, or not to grant, financial approval. However, BKC contended that HJPL's obligations under cl 4.1(b) went further and that the provision that HJPL "acknowledges and agrees that it is vital to BKC's interest that a franchisee be financially sound to avoid a business failure affecting the reputation and good name of the Burger King marks" imposed a contractual requirement to that effect on HJPL. The other possible construction of this part of cl 4.1(b), and that favoured by HJPL, is that it was no more than an acknowledgment of a particular circumstance and did not impose a contractual obligation.

[185] For present purposes, and without deciding the matter, we propose to assume that BKC's submission on this is correct and that this part of cl 4(1)(b) has contractual content. Once that assumption is made, it can be immediately seen that the provision is also wide and can have both an objective and subjective content. That being so, it reinforces our view that BKC's contractual powers under cl 4.1 are to be exercised in good faith and reasonably. That does not mean that BKC is not entitled to have regard only to its own legitimate interests in exercising its discretion. However, it must not do so for a purpose extraneous to the contract – for example, by withholding financial or operational approval where there is no basis to do so, so as to thwart HJPL's rights under the contract.

[186] In conclusion, therefore, we are of the opinion that the Development Agreement is subject to implied terms of reasonableness and good faith and his Honour was correct to so find.

[187] We should observe at this point that contrary to the submission of BKC, his Honour did not equate the implication of the terms of reasonableness and good faith with BKC's fiduciary obligations. In other words, his Honour did not find that BKC was required to prefer HJPL's interests to its own or to subjugate its interests to those of the respondents – the fiduciary duty point. Rather, his Honour found that the discretion conferred in cl 4.1 was one which was required to be exercised reasonably, so that it could not be used for a purpose foreign to that for which it was granted, such as to thwart HJPL's right to develop and ultimately to procure a situation where the Agreement could be terminated. This approach is consistent with the principles stated in *South Sydney District Rugby League Football Club v News Ltd* (2000) 177 ALR 611 and is the conclusion to which we have come.

Breach of the implied terms of good faith and reasonableness

[14.185] [The court held that BKC had breached the implied terms in the Development Agreement requiring co-operation, good faith and reasonableness. It had done this by imposing the third party freeze and by withdrawing financial and operational approval. In reaching this conclusion the court made the following comments:]

Third party freeze

… [223] BKC did not seek to support the freeze on any contractual basis. The freeze was imposed at a time when BKC had made a policy decision to, in some way, take back the Australian market. It was clear that what was meant by this was that it was actively seeking ways to at least reduce HJPL's dominant role if it could not remove it from the market altogether. One of the means available to HJPL to both satisfy the development schedule and to develop generally was through third party franchisee

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arrangements. HJPL was precluded from doing so from mid May 1995 at a time when there was evidence that there was active interest by prospective franchisee applicants. Although in May 1995 there may have been a reasonable basis to suspend the processing of applications for a short time, there was no basis for BKC to do so from at least early June 1995 onwards.

[224] We consider, therefore, that the continued imposition of the freeze was in breach of the implied terms of reasonableness and good faith.

Financial disapproval

… [306] The foregoing demonstrates a number of things. First, BKC asserted a right to conduct an annual financial review when it had no right to do so.

[307] Secondly, BKC's conduct at this time could not properly be characterised as an annual financial review of HJPL …. However, even if BKC was conducting an annual financial review and such review was permitted by the Development Agreement, the Development Agreement did not authorise withdrawal of financial approval pending completion of the review.

[308] Next, BKC's failure to grant financial approval after the time it had assessed HJPL as having complied with its ratios, was a breach of the implied term of good faith …. [310] In our opinion, the evidence clearly establishes that BKC's conduct is properly characterised as being directed not to furthering its legitimate rights under the Development Agreement but to preventing HJPL from performing its obligations under the Development Agreement. As Rolfe J put it: "In the end, I am forced to the conclusion that it was in pursuance of a deliberate plan to prevent HJPL expanding, and to enable BKC to develop the Australian market unhindered by its contractual arrangements with HJPL." [311] We agree with this conclusion ….

Operational disapproval

… [368] In our opinion, all these matters: namely, the failure to deliver a list of restaurants in the "Needs Improvement" category; the failure to forward the Franchise Action Plan to HJPL until October 1995; the failure to comply with its side of the process specified in detail in the Expansion Policy of at least ten visits per year, was unreasonable and lacking in good faith in the sense in which we have explained those concepts.

[369] We are also of the opinion that BKC's conduct in disapproving, in the manner and at the time it did, was a breach of the implied obligation of co-operation. It was apparent that the Expansion Policy required performance by both parties to achieve its purpose. We are of the opinion that, in order for HJPL to be able to effectively move to improve the categorisation of a restaurant from "Needs Improvement", it was incumbent upon BKC to provide the specified means for it to do so. That required BKC to promptly provide a Franchise Action Plan at the time it did its classification, in January/February 1995 and to visit the restaurants in accordance with the Policy. It did neither.

[370] Accordingly, we agree with his Honour's conclusion that BKC had not established that it was entitled in its sole discretion to operationally disapprove HJPL ….

[374] We have concluded that BKC breached its obligations of good faith and reasonableness by its conduct in imposing the third party freeze, and in financially and operationally disapproving HJPL from further expansion. In reaching that conclusion, we have focused on the conduct of BKC, including by reference to the way critical aspects of that conduct closely followed Montgomery's recommendations. We have, as a separate exercise, found it useful to review Montgomery's conduct in communicating directly with BKC, as a benchmark against which to independently assess BKC's actions in respect of the third party freeze and financial and operational disapproval. We review Montgomery's conduct by way of overview. [422] The trial judge made reference to the conduct of Montgomery in passing on HJPL's confidential information to BKC and in providing other advice to them which he clearly perceived would benefit BKC and perhaps also himself and would not benefit HJPL. His Honour found at para 17 that BKC was: "… content to … use [such material] to advance BKC's position."

[423] His Honour continued:

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> There were compelling examples of Montgomery's advice being followed, shortly after it was received, by BKC. I do not consider that this was merely coincidental …. [and that] BKC was prepared to go to [considerable lengths] … to use the material to seek to undermine the position of HJPL.

[424] His Honour further found that these activities "were carried out in the context of BKC's wishing to regain control of the Australian market", a strategy which commenced at least in 1993. He said that there was no commercially acceptable reason for Montgomery's conduct and that BKC's conduct was "commercially reprehensible". He found that not only was BKC acting behind HJPL's back but it was utilising the advice from Montgomery, knowing him to be a trusted employee of HJPL "to formulate its strategy against HJPL". [425] These findings, in our opinion, are incontestable and reinforce our conclusion that BKC acted in breach of its obligations of good faith in its dealings with HJPL over the issues of the third party freeze and financial and operational disapproval.

[The court also held that BKC's conduct in imposing the third party freeze and withdrawing financial and operational approval was a breach of the express terms of the Development Agreement. The court varied the damages award.]

Appeal allowed in part.

Legitimate interests

[14.190] A duty of good faith will not preclude a party from acting to protect his or her own legitimate interests. Thus, in *South Sydney District Rugby League Football Club Ltd v News Ltd* (2000) 177 ALR 611, 696, Finn J said that good faith will "not operate so as to restrict decisions and actions, reasonably taken, which are designed to promote the legitimate interests of a party and which are not otherwise in breach of an express contractual term". The concept is also considered in *Garry Rogers Motors (Aust) Pty Ltd v Subaru (Aust) Pty Ltd* [1999] FCA 903. This case also considered the possible breach of s 51AC of the *Trade Practices Act 1974* (Cth) (now s 21 of the *Australian Consumer Law*, discussed in Chapter 38).

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[14.195] *Garry Rogers Motors (Aust) Pty Ltd v Subaru (Aust) Pty Ltd* [1999] FCA 903 (Federal Court of Australia).

[FACTS: On 21 May 1991, Garry Rogers Motors, the *applicant*, was appointed by Subaru, the *first respondent*, as an authorised dealer of Subaru motor vehicles. Under the agreement between the parties, either party could terminate the agreement by notice in writing and the termination would be effective 60 days after notice had been given.

After its appointment as a Subaru dealer, the applicant updated its showroom and purchased plant and equipment to the value of approximately $110,000. It spent approximately a further $40,000 for staff training, advertising and the acquisition of stock. Since the introduction of sales targets in about 1995, the applicant reached or marginally exceeded those targets. In 1997 first respondent introduced what it called its "Six-Star Revitalisation Program". The program called for changes to dealer showrooms, service departments and spare parts departments. It required the adoption of a uniform and distinctive interior and exterior decoration, new signage, improvements in the standard of service and the like. In February 1998, Mr Cassar, the network development manager of the first respondent, attended the applicant's showroom and identified a number of areas where the showroom facilities and the practices adopted by the applicant

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did not conform to the program. In 6 May 1998, Mr Cassar met Mr Rogers, a director of the applicant. Mr Rogers indicated that he did not wish to comply with the program in respect of the showroom size, the signage, the colour of the tiles, paint and carpets and the reporting requirements. Mr Rogers later advised the first respondent that the applicant was willing to increase the size of the showroom. As to the other matters, Mr Rogers explained why he thought that they should not be carried out. Some he described as "pedantic". Others he described as unappealing. On 17 June 1998, the first respondent gave written notice of its "intention to terminate [the] relationship" between itself and the applicant. It advised that "the termination date [was] to be effective July 1 1999." The applicant subsequently advised that it now wished to adopt the Six-Star Program. The first respondent still maintained that the dealership was being terminated. The applicant commenced proceedings seeking an injunction restraining the first respondent giving effect to the termination.]

FINKELSTEIN J: … [34] The first of the two substantive arguments that the applicant has put forward in support of an interlocutory injunction is based on the alleged implied term of good faith and fair dealing. The first respondent was prepared to accept the implication of such a term in the dealership agreement for the purposes of the interlocutory application. It could hardly do otherwise. Recent cases make it clear that in appropriate contracts, perhaps even in all commercial contracts, such a term will ordinarily be implied; not as an ad hoc term (based on the presumed intention of the parties) but as a legal incident of the relationship: see eg *Renard Constructions (ME) Pty Ltd v Minister for Public Works* [1992] 26 NSWLR 234; *Hughes Aircraft Systems International v Airservices Australia* (1997) 146 ALR 1; *Alcatel Australia Ltd v Scarcella* [1998] 44 NSWLR 349.

[35] If such term is implied it will require a contracting party to act in good faith and fairly, not only in relation to the performance of a contractual obligation, but also in the exercise of a power conferred by the contract. There is no reason to think, prima facie at least, that the obligation of good faith and fair dealing would not act as a restriction on a power to terminate a contract, especially if that power is in general terms.

[36] It remains for me to decide whether the implication of that duty results in the conclusion that the first respondent has acted in breach of it.

[37] In my view, a term of a contract that requires a party to act in good faith and fairly, imposes an obligation upon that party not to act capriciously. It would not operate so as to restrict actions designed to promote the legitimate interests of that party. That is to say, provided the party exercising the power acts reasonably in all the circumstances, the duty to act fairly and in good faith will ordinarily be satisfied.

[38] However, whatever the precise content of the restriction on the exercise of a contractual power to terminate a contract is, it has not been exceeded in this case. I say this for two reasons. First, the first respondent did have good reason to terminate the dealership when it served its notice in June 1998. It had decided that its Six-Point Program was an appropriate means of improving the position of its dealers in the marketplace. It had requested the applicant to adopt the program in full and the applicant had refused to do so. The first respondent was entitled to treat this conduct as being contrary to its own business interests and to act accordingly. The second reason is that thirteen months' notice of termination was given. So far as the evidence discloses, this was a sufficient period of notice to enable the applicant to reorganise its affairs to accommodate the loss of the dealership, to the extent that it was able to do so. At least, it has not been suggested that the period of notice was unreasonable.

… [40] The second substantive point argued by the applicant was that in giving the notice of termination and, more importantly, in failing to withdraw that notice after the applicant had indicated its willingness to abide by the Six-Star Program, the first respondent had acted unconscionably, in contravention of s 51AC of the *Trade Practices Act 1974* [now s 22 of the ACL] [41] I will assume, as the first respondent suggested I might, that s 51AC has application to the facts of this case. Section 51AC(1) is in the following terms:

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A corporation must not, in trade or commerce, in connection with:

(a) the supply or possible supply of goods or services to a person (other than a listed public company); or

(b) the acquisition or possible acquisition of goods or services from a person (other than a listed public company); engage in conduct that is, in all the circumstances, unconscionable.

… [43] Section 51AC sets out the matters to which regard may be had in determining whether there has been unconscionable conduct in relation to the supply of goods or services. One of the matters mentioned is the "requirements of any applicable industry code": see s 51AC(3)(g). There is an applicable industry code: the "Franchising Code of Conduct". That code came into operation on 1 July 1998. However, by clause 5 most of its provisions did not take effect until 1 October 1998. The code is applicable to the facts of this case, because clause 4(2) provides that a motor vehicle dealership agreement is to be taken as a franchise agreement for the purposes of the code.

[44] Relevant for present purposes is clause 22. It provides:

(1) This clause applies if a franchisor terminates a franchise agreement:

(a) before it expires; and

(b) without the consent of the franchisee; and

(c) if the franchisee has not breached the franchise agreement; and

(d) clause 23 does not apply.

For paragraph (1)(b), a condition of a franchise agreement that a franchisor can terminate the franchise agreement without the consent of the franchisee is not taken to be consent.

(2) Before terminating the franchise agreement, the franchisor must give reasonable written notice of the proposed termination, and reasons for it, to the franchisee.

(3) Part 4 (resolving disputes) applies in relation to a dispute arising from termination under this clause.

[45] It will be noticed that this clause permits the termination of a franchise agreement before the expiry of the term of that agreement even if the franchisee has not breached the agreement. However, before terminating the agreement, the franchisor must (a) give reasonable written notice of the proposed termination and (b) provide written reasons for the termination. The first requirement has been satisfied. Thirteen months' notice was given. The second requirement has not been complied with. The first respondent did not provide written reasons for the termination. However, in the circumstances I do not regard this failure as constituting unconscionable conduct. The reason is that the applicant was aware that one factor, if not the principal factor, motivating the termination was its failure to adopt the Six-Star Program. It is true that the first respondent contends that there were other reasons why the notice of termination was given. Mr Cassar has said that he orally informed Mr Rogers of those reasons and this is one of the matters that are in dispute. Nevertheless it seems clear enough, in my opinion, that even if there were no other reasons for the termination, the dealership would have been terminated in consequence of the failure by the applicant to adopt the Six-Star Program. A failure to state in writing what the applicant knew to be the case could not constitute unconscionable conduct in my opinion. [46] Further, I do not regard the refusal by the first respondent to withdraw its notice of termination as unconscionable conduct. I take as the measure of unconscionability, conduct that might be described as unfair. In the present circumstances I do not believe that the first respondent has acted unfairly in not wishing to reinstate the applicant as a dealer. The applicant had been a dealer for seven or eight years. Whilst it was not obliged to adopt the Six-Star Program, that is, it was not contractually obliged to do so, its failure to adopt the program and its criticism of certain aspects of the program, could reasonably be regarded by the first respondent as an indication that the applicant was not willing to act in the best interests of the first respondent and of the dealership group as a whole. No doubt this led to a loss of confidence in the applicant. That loss

Garry Rogers Motors (Aust) v Subaru (Aust) cont.

of confidence would not necessarily be overcome by a change in attitude on the part of the applicant. Many relationships can only operate satisfactorily if there is mutual confidence and trust. Once that confidence and trust has broken down the position is not easily restored. It is not unconscionable to terminate a relationship where that trust and confidence has been undermined.

[47] For the foregoing reasons, I would dismiss the application for interlocutory relief with costs.

CHAPTER ***15***

Frustration

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FRUSTRATION AS AN EXCUSE FOR NON-PERFORMANCE

[15.05] The performance of a contract may sometimes be disrupted by catastrophic events that have not been provided for by the parties in their contract. In such cases, it may be inferred that there is a gap in the parties' contract. The doctrine of frustration provides an excuse for non-performance in these sorts of cases.

WHEN IS A CONTRACT FRUSTRATED?

The test for frustration

[15.10] The modern test for determining when a contract is frustrated was expressed by Lord Radcliffe in *Davis Contractors Ltd v Fareham UDC* [1956] AC 696, 729 as follows:

> Frustration occurs whenever the law recognises that without default of either party a contractual obligation has become incapable of being performed because the circumstances in which performance is called for would render it a thing radically different from that which was undertaken by the contract. Non haec in foedera veni. It was not this that I promised to do.

The test was approved by the High Court of Australia in *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 (extracted at [15.35]).

Illustrations

[15.15] The following cases provide illustrations of when a contract will or will not be frustrated. The modern test for frustration is based on the construction of the contract. Some of the cases, decided before *Davis Contractors Ltd v Fareham UDC* [1956] AC 696, and *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, apply a different test of frustration. However, courts have stated on a number of occasions that the various theories of frustration produce similar results and that cases decided under the earlier theories were not wrongly decided, see for example *Davis Contractors Ltd v Fareham UDC*

[1956] AC 696, 728; *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337, 357 (extracted at [15.35]).

Destruction of subject matter

Taylor v Caldwell

[15.20] *Taylor v Caldwell* [1863] EWHC QB J1; (1863) 3 B & S 826; 122 ER 309 (Court of Queen's Bench – Rule to enter verdict for defendants).

[FACTS: On 27 May 1861, parties entered into a contract by which the *defendants* agreed to "let" and the *plaintiffs* agreed to "take" the Surrey Gardens and Music Hall on four days for the purpose of giving a series of four concerts, and day and night fetes for a fee of £100 for each day. After the making of the agreement, and before the first day on which a concert was to be given, the Hall was destroyed by fire. The plaintiffs lost money paid by them in preparing for the concerts, including in printing advertisements of and in advertising the concerts. The plaintiffs sought to recover this expenditure, alleging that the defendants had breached the contract.]

BLACKBURN J: [832] In this case the plaintiffs and defendants had, on the 27th May, 1861, entered into a contract by which the defendants agreed to let the plaintiffs have the use of The Surrey Gardens and Music Hall on four days then to come, viz, the 17th June, 15th July, 5th August and 19th August, for the purpose of giving a series of four grand concerts, and day and night fetes at the Gardens and Hall on those days respectively; and the plaintiffs agreed to take the Gardens and Hall on those days, and pay 100l for each day. The parties inaccurately call this a "letting," and the money to be paid a "rent;" but the whole agreement is such as to shew that the defendants were to retain the possession of the Hall and Gardens so that there was to be no demise of them, and that the contract was merely to give the plaintiffs the use of them on those days. Nothing however, in our opinion, depends on this. The agreement sets out various stipulations between the parties as to what each was to supply for these concerts and entertainments, and as to the manner in which they should be carried on. The effect of the whole is to shew that the existence of the Music Hall in the Surrey Gardens in a state fit for a concert was essential for the fulfilment of the contract – such entertainments as the parties contemplated in their agreement could not be given without it. After the making of the agreement, and before the first day on which a concert was to be given, the Hall was destroyed by fire. This destruction, we must take it on the evidence, was without the fault of either party, and was so complete that in consequence the concerts could not be given as intended. [833] And the question we have to decide is whether, under these circumstances, the loss which the plaintiffs have sustained is to fall upon the defendants. The parties when framing their agreement evidently had not present to their minds the possibility of such a disaster, and have made no express stipulation with reference to it, so that the answer to the question must depend upon the general rules of law applicable to such a contract. There seems no doubt that where there is a positive contract to do a thing, not in itself unlawful, the contractor must perform it or pay damages for not doing it, although in consequence of unforeseen accidents, the performance of his contract has become unexpectedly burthensome or even impossible. The law is so laid down in 1 Roll Abr 450, Condition (G), and in the note (2) to *Walton v Waterhouse* (2 Wms Saund 421 a 6th ed), and is recognised as the general rule by all the judges in the much discussed case of *Hall v Wright* (1858) EB & E 746; 120 ER 688. But this rule is only applicable when the contract is positive and absolute, and not subject to any condition either express or implied: and there are authorities which, as we think, establish the principle that where, from the nature of the contract, it appears that the parties must from the beginning have known that it could not be fulfilled unless when the time for the fulfilment of the contract arrived some particular specified thing continued to exist, so that, when entering into the contract, they must have contemplated such continuing existence as the foundation of what was to be done; there, in the absence of any express or implied warranty that the thing shall exist, the contract is not to be construed as a positive contract, but as subject to an implied con-[834]dition that the parties shall be excused in case, before breach, performance becomes impossible from the perishing of the thing without default of the contractor.

Taylor v Caldwell cont.

There seems little doubt that this implication tends to further the great object of making the legal construction such as to fulfil the intention of those who entered into the contract. For in the course of affairs men in making such contracts in general would, if it were brought to their minds, say that there should be such a condition.

Accordingly, in the civil law, such an exception is implied in every obligation of the class which they call obligatio de certo corpore … [T]he principle is adopted in the civil law as applicable to every obligation of which the subject is a certain thing. The general subject is treated by Pothier, who in his *Traité des Obligations*, [835] states the result to be that the debtor corporis certi is freed from his obligation when the thing has perished, neither by his act, nor his neglect, and before he is in default, unless by some stipulation he has taken on himself the risk of the particular misfortune which has occurred.

Although the civil law is not of itself authority in an English court, it affords great assistance in investigating the principles on which the law is grounded. And it seems to us that the common law authorities establish that in such a contract the same condition of the continued existence of the thing is implied by English law.

There is a class of contracts in which a person binds himself to do something which requires to be performed by him in person; and such promises, for example, promises to marry, or promises to serve for a certain time, are never in practice qualified by an express exception of the death of the party; and therefore in such cases the contract is in terms broken if the promisor dies before fulfilment. Yet it was very early determined that, if the performance is personal, the executors are not liable …

[836] It seems that in those cases the only ground on which the parties or their executors, can be excused from the consequences of the breach of the contract is, that from the nature of the contract there is an implied condition of the continued existence of the life of the contractor … In the instances just given, the person, the continued existence of whose life is necessary to the fulfilment of the contract, is himself the contractor, but that does not seem in itself to be necessary to the application of the principle; as is illustrated by the following example. In the ordinary form of an apprentice deed the apprentice binds himself in unqualified terms to "serve until the full end and term of seven years to be fully complete and ended," during which term it is covenanted that the apprentice his master "faithfully shall serve," and the father of the apprentice in equally unqualified terms binds himself for the performance by the apprentice of all and every covenant on his part. It is undeniable that if the apprentice dies within the seven years, the covenant of the father that he shall perform his covenant to serve for seven years is not fulfilled, yet surely it cannot be that an action would lie against the father? Yet the only reason why it would not is that he is excused because of the apprentice's death.

[837] These are instances where the implied condition is of the life of a human being, but there are others in which the same implication is made as to the continued existence of a thing …

[839] The principle seems to us to be that, in contracts in which the performance depends on the continued existence of a given person or thing, a condition is implied that the impossibility of performance arising from the perishing of the person or thing shall excuse the performance. In none of these cases is the promise in words other than positive, nor is there any express stipulation that the destruction of the person or thing shall excuse the performance; but that excuse is by law implied, because from the nature of the contract it is apparent that the parties contracted on the basis of the continued existence of the particular person or chattel. In the present case, looking at the whole contract, we find that the parties contracted on the basis of the continued existence of the Music Hall at the time when the concerts were to be given; that being essential to their performance.

[840] We think, therefore, that the Music Hall having ceased to exist, without fault of either party, both parties are excused, the plaintiffs from taking the gardens and paying the money, the defendants

Taylor v Caldwell cont.

from performing their promise to give the use of the Hall and gardens and other things. Consequently the rule must be absolute to enter the verdict for the defendants.

[COCKBURN CJ, WIGHTMAN and CROMPTON JJ agreed with Blackburn J.]

Rule absolute.

Disappearance of the basis of the contract

Krell v Henry

[15.25] *Krell v Henry* [1903] 2 KB 740 (Court of Appeal) – Appeal from Darling J.

[FACTS: The *plaintiff* brought action to recover the balance of an amount for the hire of rooms by the *defendant* on Pall Mall on two dates under a contract constituted by correspondence between the parties. Evidence was admitted to show that on those dates the coronation procession of King Edward VII would take place and pass along Pall Mall. The coronation was postponed and the defendant declined to pay the balance due under the contract.]

VAUGHAN WILLIAMS LJ: [747] The real question in this case is the extent of the application in English law of the principle of the Roman law which has been adopted and acted on in many English decisions, and notably in the case of *Taylor v Caldwell* (1863) 3 B & S 826; 122 ER 309. That case at least makes it clear that

> where, from the nature of the contract, it appears that the parties must from the beginning have known that it could not be fulfilled unless, when the time for the fulfilment of the contract arrived some particular specified thing continued to exist, so that when entering into the contract they must have contemplated such continued existence as the foundation of what was to be done; there, in the absence of any express or implied warranty that the thing shall exist, the contract is not to be considered a positive contract, but as subject to an implied condition that the parties shall be excused in case, before breach performance becomes impossible from the perishing of the thing without default of the contractor.

Thus far it is clear that the principle of the Roman law has been introduced into the English law. The doubt in the present case arises as to how far this principle extends. The Roman law dealt with obligationes de certo corpore. Whatever may have been the limits of the Roman law, the case of *Nickoll v Ashton* [1902] 2 KB 126 makes it plain that the English law applies the principle not only to cases where the performance of the contract becomes impossible by the cessation of existence of the thing which is the subject matter of the contract, but also to cases where the event which renders the contract incapable of performance is the cessation or non-existence of an express condition or state of things, going to the root of the contract, and essential to its performance. It is said, on the one side, that the specified thing, state of things, or condition the continued existence of which is necessary for the fulfilment of the contract, so that the parties entering into the contract must have contemplated the continued existence of that thing, condition, or state of things as the foundation of what was to be done under the contract, is limited to things which are either the subject matter of the contract or a condition or state of things, present or anticipated, which is expressly [749] mentioned in the contract. But, on the other side, it is said that the condition or state of things need not be expressly specified, but that it is sufficient if that condition or state of things clearly appears by extrinsic evidence to have been assumed by the parties to be the foundation or basis of the contract, and the event which causes the impossibility is of such a character that it cannot reasonably be supposed to have been in the contemplation of the contracting parties when the contract was made. In such a case the contracting parties will not be held bound by the general

Krell v Henry cont.

words which, though large enough to include, were not used with reference to a possibility of a particular event rendering performance of the contract impossible. I do not think that the principle of the civil law as introduced into the English law is limited to cases in which the event causing the impossibility of performance is the destruction or non-existence of something which is the subject matter of the contract or of some condition or state of things expressly specified as a condition of it. I think that you first have to ascertain, not necessarily from the terms of the contract, but, if required, from necessary inferences, drawn from surrounding circumstances recognised by both contracting parties, what is the substance of the contract, and then to ask the question whether that substantial contract needs for its foundation the assumption of the existence of a particular state of things. If it does, this will limit the operation of the general words, and in such case, if the contract becomes impossible of performance by reason of the non-existence of the state of things assumed by both contracting parties as the foundation of the contract, there will be no breach of the contract thus limited. Now what are the facts of the present case? …

[750] In my judgment the use of the rooms was let and taken for the purpose of seeing the royal procession. It was not a demise of the rooms, or even an agreement to let and take the rooms. It is a licence to use rooms for a particular purpose and none other. And in my judgment the taking place of those processions on the days proclaimed along the proclaimed route, which passed 56A Pall Mall, was regarded by both contracting parties as the foundation of the contract; and I think that it cannot reasonably be supposed to have been in the contemplation of the contracting parties, when the contract was made, that the coronation would not be held on the proclaimed days, or the processions not take place on those days along the proclaimed route; and I think that the words imposing on the defendant the obligation to accept and pay for the use of the rooms for the named days, although general and unconditional, were not used with reference to the possibility of the particular contingency which afterwards occurred. It was suggested in the course of the argument that if the occurrence, on the proclaimed days, of the coronation and the procession in this case were the foundation of the contract, and if the general words are thereby limited or qualified, so that in the event of the non-occurrence of the coronation and procession along the proclaimed route they would discharge both parties from further performance of the contract, it would follow that if a cabman was engaged to take someone to Epsom on Derby Day at a suitable enhanced price for such a journey, say £10, both parties to the contract would be discharged in the contingency of the race at Epsom for some reason becoming impossible; but I do not think this follows, for I do not think that in the cab case the happening of the race would be the foundation of the contract …

Each case must be judged by its own circumstances. In each case one must ask oneself, first, what, having regard to all the circumstances, was the foundation of the contract? Secondly, was the performance of the contract prevented? Thirdly, was the event which prevented the performance of the contract of such a character that it cannot reasonably be said to have been in the contemplation of the parties at the date of the contract? If all these questions are answered in the affirmative (as I think they should be in this case), I think both parties are discharged from further performance of the contract. I think that the coronation procession was the foundation of this contract and that the non-happening of it prevented the performance of the contract; and, secondly, I think that the [752] non-happening of the procession, to use the words of Sir James Hannen in *Baily v De Crespigny* (1869) LR 4 QB 180 at 185, was an event of such a character that it cannot reasonably be supposed to have been in the contemplation of the contracting parties when the contract was made, and that they are not to be held bound by general words which though large enough to include, were not used with reference to the possibility of the particular contingency which afterwards happened …

[ROMER LJ, expressing some doubt, agreed with Vaughan Williams LJ. STIRLING LJ agreed with Vaughan Williams LJ.]

Appeal dismissed.

Brisbane City Council v Group Projects

[15.30] *Brisbane City Council v Group Projects Pty Ltd* (1979) 145 CLR 143 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: *Group Projects* owned 19 acres of land zoned "future urban" which they wished to develop as a residential subdivision. The Brisbane City Council, the *council*, agreed to make the necessary application to have the land zoned residential in consideration of Group Projects carrying out certain works if the rezoning was approved. Essentially, these were to construct roads, footpaths, drains, water mains, plant trees and do other things appropriate for a residential subdivision. Much of this work was to be carried out off the 19 acres. The council undertook certain obligations relating to footpaths, water and sewerage. The agreement required Group Projects to furnish a bond of almost $200,000 as security for the performance of its obligations. Some months later, and before any rezoning had been approved, the parties were advised that the land was to be resumed by the Crown for school purposes. The rezoning was eventually approved but one month before it took effect, the land vested in the Crown under the resumption. Group Projects accordingly no longer owned the land and could not proceed with the proposed subdivision. The council contended that Group Project's obligations and the obligations on the bond remained in force.]

STEPHEN J: [154] To free itself of these obligations, Group Projects sought and obtained in the Supreme Court of Queensland (Dunn J) a declaration that the deed, bond and mortgage had each ceased to be binding upon the parties, the obligations they contained being discharged as and from 13 November 1976. An appeal to the Full Court was dismissed and the council now appeals to this court.

Dunn J held that on resumption the land became Crown land to which the relevant town planning legislation, and in consequence the City of Brisbane Town Plan, became inapplicable; the legislation did not bind the Crown and the subsequent purported rezoning was ineffectual … Thereupon the deed, bond and mortgage became "insusceptible of application to the new situation" and this without default of any party. It followed that the contracts contained in all three instruments had been frustrated since 13 November 1976. His Honour cited *Davis Contractors Ltd v Fareham UDC* [1956] AC 696, as authority for that proposition …

[156] [O]n the view which I take, I am little concerned with the question whether Queensland's town planning legislation or Brisbane's Town Plan binds the Crown, and, if it does not, whether that means that zoning ceases for all purposes to have any application to land once it becomes Crown land. The question for me is, rather, whether Group Projects will be in breach of its obligations under the deed if it fails to perform them or whether it may instead invoke the doctrine of frustration so as to bring the deed, and no doubt the bond also, to an end …

In any consideration of the claim that this is a case of frustration, two features of the case should be noted at the outset. The first is that this is not the common case of two contracting parties, both interested in a commercial venture, one of them supplying to the other, in return for a money payment, goods or land or services. The council is a public body and the principal obligation which the deed imposes upon it is performance of an act, the making of an application for rezoning, which is of a kind which the statute contemplates that it will from time to time have occasion to perform in carrying out its public functions. The inducement offered to the council is not in essence monetary gain. Its relevant primary concern is, no doubt, that areas destined for residential development should be provided with proper amenities, with electric light, water, sewerage system, good roads, parks and the like. To induce it to apply for rezoning, Group Projects undertakes materially to assist in the provision of these amenities. No doubt the council has in mind that its own funds should not unnecessarily be expended in providing those amenities; instead the subdivider and, ultimately, purchasers of subdivided allotments should, so far as possible, be made to bear the financial burden. However, [157] essentially the advantages which the council seeks are not its own financial or commercial advancement but the attainment in a new subdivisional area of appropriate standards of amenity. This distinguishes the present case from those in which questions of frustration usually arise.

Brisbane City Council v Group Projects cont.

The second feature calling for mention is that *in principle* this is not a case in which performance of contractual obligations has either been rendered impossible or more onerous by the frustrating event. I use the qualifying expression "in principle" because, as it happens, some of Group Projects' obligations would in fact have involved the carrying out of work on the land itself, which has now become Crown land to which it no longer has access, let alone the right to carry out engineering works on it. But the bulk of the work contracted for, or towards the cost of which it has promised to contribute, was to be done *off* the acquired land, so that its acquisition by the Crown in no way prevents the doing of that work or alters its nature or cost. That this is not so in relation to all the work to be done is in a sense fortuitous and the great bulk of the work can still be performed with no greater difficulty or expense than before. If frustration is to apply its application cannot, in these circumstances, be accommodated very comfortably within any theory of frustration which is said to be based upon such a "change in the significance of the obligation that the thing undertaken would, if performed, be a different thing from that contracted for" (*Davis Contractors Ltd v Fareham UDC* at 729 per Lord Radcliffe).

There is, I suppose, no doubt but that the acquisition of the land by the Crown for use as the site of a school has deprived Group Projects of all desire to now proceed with the work and expenditure which it has contracted for under the deed. To do that work and incur that expenditure would be to provide, at great cost to itself, facilities for land in which it no longer has the remotest interest. Even the council's interest in having some at least of that work performed may, one speculates, be now diminished … Be that as it may, it is clear that, although Group Projects no doubt remains able to perform the bulk of the obligations which it has undertaken, being that part [158] of the work which is not to be undertaken on the acquired land, and although that work will have neither changed in character nor become more onerous, yet the acquisition of the land for a school site has wholly destroyed Group Projects' purpose in undertaking any obligations at all.

Whichever of the competing theories, said to underlie and give conceptual validity to the doctrine of frustration, is to be preferred, and the truth may, indeed, not lie in a choice of one and the rejection of all others, there is no doubt that an examination of the parties' agreement and of the surrounding circumstances provides an appropriate starting point. I have already spoken of the role of the council, a public body performing public duties, and of the complete aborting of Group Projects' plans as a result of the acquisition of the land for a school site. The terms of the deed both reflect this role of the council and also emphasise that it was upon the basis of development of the land as a residential subdivision that the parties entered into it.

[His Honour then considered the obligations of the parties, pointing out how fundamental to their plans was the rezoning of the land for residential purposes. He continued] [159] So much for what may be gleaned from the surrounding circumstances and the parties' contract. The task is to set this alongside the doctrine of frustration and to see whether the result is that the law will regard the contract as frustrated or will, [160] instead, regard non-performance by Group Projects as actionable at the suit of the council. In *Port Line Ltd v Ben Line Steamers Ltd* [1958] 2 QB 146 at 162, Diplock J said: "It would appear to be the fate of frustration cases when they reach the highest tribunals that either there should be agreement as to the principle but differences as to its application, or differences as to the principle but agreement as to its application."

This was said despite, or perhaps in the light of, what is the leading modern authority in the field, the decision of their Lordships in *Davis Contractors*, pronounced in 1956. Such divergency of principle as commentators have extracted from their Lordships' speeches do not, I think, affect the present case. In *Davis Contractors* Viscount Simonds and Lord Morton offer no guide to principle, although they do reflect the general disinclination to allow much scope to the operation of frustration. Lord Somervell (at 733) agrees with Lord Reid's conclusion upon "the proper basis of frustration". It is in the speeches of Lord Reid and Lord Radcliffe that extensive discussion of principle occurs.

Brisbane City Council v Group Projects cont.

Lord Reid rejected the notion of the implied term as the basis of the doctrine. He says (at 720-1) that the task for a court, confronted with the parties' contract, is to determine, on the true construction of the terms of the contract, read in the light of the nature of the contract and of the relevant surrounding circumstances when the parties made it, "whether the contract which they did make is, on its true construction, wide enough to apply to the new situation: if it is not, then it is at an end." Frustration he describes (at 723) as "the termination of the contract by operation of law on the emergence of a fundamentally different situation". What I understand his Lordship's approach to involve is, then, a comparison between the contemplated situation, as revealed by the terms of the contract on its true construction, and the situation in fact resulting from the frustrating event. If they be "fundamentally different" the contract is frustrated subject, of course, to the frustrating event not being the fault of the party seeking to rely upon the doctrine.

Lord Radcliffe (at 727-9) considers those cases which treat frustration as involving an implied term, cases which involved diverse approaches, sometimes subjective and sometimes objective, in [161] ascertaining the content of the term to be implied. His Lordship suggests (at 729):

> frustration occurs whenever the law recognises that without default of either party a contractual obligation has become incapable of being performed because the circumstances in which performance is called for would render it a thing radically different from that which was undertaken by the contract. Non haec in foedera veni. It was not this that I promised to do.

This is close to the views of Lord Reid and together they represent the approach which I would apply in the present case. It should, however, be noted that Lord Radcliffe tends rather to concentrate on a change in *obligation*. Thus he says, again (at 729):

> it is not hardship or inconvenience or material loss itself which calls the principle of frustration into play. There must be as well such a change in the significance of the obligation that the thing undertaken would, if performed, be a different thing from that contracted for.

Lord Radcliffe also introduces (at 731) the limitation that the frustrating event must not be one which the parties could "reasonably be thought to have foreseen". As already mentioned, the "change in obligation" test proposed by Lord Radcliffe, no doubt apt enough in most frustration situations, seems to be inapplicable here, as it was in the so-called Coronation cases, of which *Krell v Henry* [1903] 2 KB 740 is the leading example. But I do not understand his Lordship to say that without change in obligation there can be no frustration: it is "the occurrence of any unexpected event that, as it were, changes the face of things" (at 729) that give rise to frustration. His Lordship's emphasis upon change in obligation is, I think, to be understood in the context of the factual situation under discussion in *Davis Contractors*. Later cases in which frustration was discussed, many of them arising following the sudden closure of the Suez Canal, appear to me to throw little further light upon the principle of the doctrine so far as relevant to the present case. In *Albert D Gaon & Co v Société Interprofessionelle Oléagineux Fluides Alimentaires* [1960] 2 QB 318 at 347, Ashworth J referred to the need for a "fundamental commercial difference" between contemplated and actual performance, a view echoed on appeal by Sellers LJ (at 362). In *Tsakiroglou & Co Ltd v Noblee Thorl* [1962] AC 93 (which at first instance and in the Court of Appeal is reported with *Gaon's* case), Viscount Simonds (at 115) referred to the criterion of whether [162] "the nature of the contract 'fundamentally' altered", as did Lord Reid: at 119. Lord Guest (at 131) referred to the "juridical basis" of the doctrine of frustration as discussed by Lord Reid and Lord Radcliffe in *Davis Contractors*. In *The Eugenia* [1964] 2 QB 226 at 238, Lord Denning, spoke of "a fundamentally different situation" arising for which the parties made no provision, "so much so that it would not be just in the new situation to hold them bound by its terms". He appears to reject (at 239) the relevance of foreseeability, to which Lord Radcliffe had attached importance in *Davis Contractors*: at 731.

Whether Lord Loreburn's theory of the implied term – *FA Tamplin Steamship Co Ltd v Anglo-Mexican Petroleum Products Co Ltd* [1916] 2 AC 397; or that of the disappearance of the basis of the

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contract – *Tatem Ltd v Gamboa* [1939] 1 KB 132 per Goddard J; or Lord Wright's just and reasonable solution for reconciling the sanctity of contract with the special exceptions which justice demands (*Denny, Mott and Dickson Ltd v Fraser & Co Ltd* [1944] AC 265), or, again, the approaches manifest in the speeches in *Davis Contractors*, are to be preferred, the result in the present case appears to me to be the same. In saying this I echo the words of Diplock J in the *Port Line* case, who said (at 162): "I think, however, that whichever of the many suggested tests are applied, the result in this case is the same." I prefer to express the matter in terms of Lord Reid's approach in *Davis Contractors*, but, however expressed the conclusion should be, I think, that this contract has been frustrated. There has arisen, as a result of the compulsory acquisition of the land by the Crown for a school site, such a fundamentally different situation from that contemplated when the contract was entered into that it is properly to be regarded as having come to an end at the date of acquisition by the Crown.

It is no doubt true, as critics complain, that the various expositions of the true basis of the doctrine of frustration leave imprecise its actual operation when applied to the facts of particular cases. How dramatic must be the impact of an allegedly frustrating event? To what degree or extent must such [163] an event overturn expectations, or affect the foundation upon which the parties have contracted, or, again, how unjust and unreasonable a result must flow or how radically different from that originally undertaken must a contract become (to use the language of some of the various expositions), before it is to be regarded as frustrated? The cases provide little more than single instances of solutions to these questions.

These difficulties of application of the doctrine of frustration were keenly appreciated both by Latham CJ and by Williams J in their consideration of the doctrine in *Scanlan's New Neon Ltd v Tooheys Ltd* (1943) 67 CLR 169. They are, perhaps, inevitable in questions of degree arising when a broad principle must be applied to infinitely variable factual situations … [164] The combination of these considerations satisfy me that this is a proper case for the application of the doctrine of frustration. If the deed was frustrated by the acquisition, so too will be the bond and the mortgage security associated with it, as was held by Dunn J. I would accordingly dismiss this appeal.

[MURPHY J agreed with Stephen J. GIBBS CJ and WILSON J did not find it necessary to deal with the question of frustration.]

Appeal dismissed.



State of affairs essential to performance

Codelfa Construction v State Rail Authority of NSW

[15.35] *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: The predecessor in title to the State Rail Authority of New South Wales (the *Authority*), the Commissioner for Railways, called for tenders for the construction of certain parts of the Eastern Suburbs Railway in Sydney. The work involved the construction of tunnels, open cuts, other substantial excavation work and construction. Much of this work was to be carried out in residential areas. The construction of the railway was authorised by the *City and Suburban Electric Railways (Amendment) Act 1967* (NSW) which in s 11 provided:

> Notwithstanding any provision in any Act to the contrary, it shall not be necessary for the Constructing Authority to give any notice of his intention to blast any rock, nor shall he be liable to have an injunction issued to restrain him from causing or continuing to cause any

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> nuisance by such blasting or any other operation necessary or proper in connection with the construction of the said work.

Codelfa's tender was accepted and the resulting contract provided that:

1. the contract price was payable for all work regardless of difficulty;
2. the contractor was to provide at his own expense everything necessary for the completion of the contract;
3. he was deemed to have informed himself fully of conditions affecting the carrying out of the work; and
4. all work was to be completed within 130 weeks of notice to proceed.

The contract also provided:

> The Commissioner shall not be entitled to cancel the contract or to take part of the works out of the contractor's hands or to recover from the contractor any liquidated damages, because of any delays in the completion of the works or the separable parts thereof owing to causes beyond the control or without the fault or negligence of the contractor if:
>
> (1) the contractor shall notify the engineer in writing of the cause of any such delay or default within ten days of the beginning thereof or within such further period as the engineer shall grant for the receipt of such notice; and
>
> (2) on receipt of such notice from the contractor under this subclause, the engineer shall ascertain the facts and the extent of the delay, and extend the time for completing the works when, in the opinion of the engineer, the findings of fact justify an extension.

Codelfa commenced work operating three shifts a day. Considerable noise, dust and vibration were caused by the work and notwithstanding s 11 of the Act, injunctions were granted against Codelfa restraining it from performing construction work on site between 10 pm and 6 am each day and certain work was prohibited on Sundays.

Codelfa, being restrained from working three shifts per day for six days a week and from working on the seventh day, claimed from the Commissioner an amount additional to the price payable under the contract in respect of the additional costs which it incurred and the profit which it did not earn by reason of the change in working methods it was constrained to adopt. The claim was put on alternative bases: either a warranty should be implied in the contract for breach of which Codelfa should recover damages, or the contract should be held to have been frustrated by the issue of the injunctions and Codelfa should recover on a quantum meruit an amount which, assumedly, would be more than the price payable under the contract. The claim was resisted by the Commissioner and the dispute was submitted to arbitration. …

[340] The Arbitrator held that a term should be implied in the contract "to the effect that upon the issuing of the restraining orders and injunctions referred to in par 18 the principal would grant to the contractor a reasonable extension of time for the completion of the works and would advise the contractor of the fact of the grant of the extension of time within a reasonable period after the issuing of the restraining orders and injunctions became known to the principal or ought to have become known to the principal". He found that the Authority had not within a reasonable time granted or notified Codelfa of the grant of a reasonable extension of time, and as a result Codelfa had suffered loss of $956,000.

Codelfa and the Authority each issued a summons out of the Supreme Court seeking determination of the questions stated in the special case. At the same time, Codelfa commenced proceedings in the Supreme Court alleging frustration of the contract; a request by the Authority to continue the work; an implied provision to pay a reasonable sum for the work done, and a failure to pay such sum. After the Arbitrator had made his award, a case was stated in the frustration action, incorporating the award and stating that the only facts on which Codelfa would rely to establish frustration were those contained in the pleadings and the findings of the

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Arbitrator. The questions raised by the special case stated by the Arbitrator and the case stated in the frustration action were determined by Ash J. Amongst other things, his Honour held that the following addition should be made to the term which the Arbitrator held should be implied in the contract: "that the works, the subject of the contract, could be carried out by the contractor on a three-shift continuous basis six days per week and without restriction as to Sunday and that no injunction or other restraining order would or could be granted against the contractor in relation to [341] noise or other nuisance arising out of the carrying out of the said works on such basis". He dismissed Codelfa's frustration action.

On appeal, the Court of Appeal Division (Reynolds, Glass and Samuels JJA) varied Ash J's answers to some of the questions raised in the special case, and in particular held that the term to be implied should be: "If the contractor is prevented from executing the works on the basis of a three shift continuous operation six days per week without restriction as to Sundays by the terms of an injunction granted to restrain any nuisance caused by the inherently noisy or disturbing nature of any work performed in accordance with the contract (including any requirements made by the engineer pursuant to Cl S 8(2)(c) thereof), the Commissioner within a reasonable period thereafter shall grant and notify to the contractor a reasonable extension of time in respect of any delays in the completion of the works thereby occasioned, and shall indemnify the contractor against any additional costs or expenses thereby reasonably incurred." The dismissal of the frustration action was affirmed.

Codelfa appealed to the High Court against some of the answers given to the questions raised in the special case stated by the Arbitrator, and against the dismissal of its appeal in the frustration action. The Authority cross-appealed, challenging certain answers given by the Court of Appeal to the Arbitrator's special case, including the finding of the implied term. The matters raised by the appeal and cross-appeal were whether a term relating to the granting of the injunctions should be implied in the contract; whether the granting of the injunction frustrated the contract; the construction of the rise and fall clause; and the allowance by the Arbitrator of interest on the sum found due.]

MASON J: [345]

Implied term

In this ocean of litigious controversy there is one large island of agreement between the parties. It is common ground that their contract consists of the agreement dated 21 March 1972 and the various documents which it incorporates … The appellant's case is that a term has to be implied in the contract to give business efficacy, to make it workable. Consequently, there is no contest as to what constitutes the contract; rather the contest is as to its meaning and effect.

When we say that the implication of a term raises an issue as to the meaning and effect of the contract we do not intend by that statement to convey that the court is embarking upon an orthodox exercise in the interpretation of the language of a contract, that is, assigning a meaning to a particular provision. Nonetheless, the implication of a term is an exercise in interpretation, though not an orthodox instance.

Of course, I am speaking of an implied term necessary to give business efficacy to a particular contract, not of the implied term which is a legal incident of a particular class of contract, of which *Liverpool City Council v Irwin* [1977] AC 239, is an example … [346] The implication of a term is to be compared, and at the same time contrasted, with rectification of the contract. In each case the problem is caused by a deficiency in the expression of the consensual agreement. A term which should have been included has been omitted. The difference is that with rectification the term which has been omitted and should have been included was actually agreed upon; with implication the term is one which it is presumed that the parties would have agreed upon had they turned their minds to it; it is not a term that they have actually agreed upon. Thus, in the case of the implied term the deficiency in the expression of the consensual agreement is caused by the failure of the parties to direct their minds to a particular eventuality and to make explicit provision for it. Rectification ensures that the contract gives effect to the parties' actual intention; the implication of a term is designed to

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give effect to the parties' presumed intention. For obvious reasons the courts are slow to imply a term. In many cases, what the parties have actually agreed upon represents the totality of their willingness to agree; each may be prepared to take his chance in relation to an eventuality for which no provision is made. The more detailed and comprehensive the contract the less ground there is for supposing that the parties have failed to address their minds to the question at issue. And then there is the difficulty of identifying with any degree of certainty the term which the parties would have settled upon had they considered the question.

Accordingly, the courts have been at pains to emphasise that it is not enough that it is reasonable to imply a term; it must be necessary to do so to give business efficacy to the contract. So in *Heimann v Commonwealth* (1938) 38 SR (NSW) 691, Jordan CJ (at 695), citing *Bell v Lever Brothers Ltd* [1932] AC 161 at 226, stressed that in order to justify the importation of an implied term it is "not sufficient that it would be reasonable to imply the term … It must be clearly necessary" (To the same effect are the comments of Bowen LJ in *The Moorcock* (1889) 14 PD 64 at 68) …

The basis on which the courts act in implying a term was expressed by MacKinnon LJ in *Shirlaw v Southern Foundries* [347] *(1926) Ltd* [1939] 2 KB 206 at 227 in terms that have been universally accepted: "Prima facie that which in any contract is left to be implied and need not be expressed is something so obvious that it goes without saying …" The conditions necessary to ground the implication of a term were summarised by the majority in *BP Refinery Pty Ltd v Hastings Shire Council* (1977) 52 ALJR 20 at 26:

(1) it must be reasonable and equitable;

(2) it must be necessary to give business efficacy to the contract, so that no term will be implied if the contract is effective without it;

(3) it must be so obvious that "it goes without saying";

(4) it must be capable of clear expression;

(5) it must not contradict any express term of the contract.

In the present case the New South Wales Court of Appeal placed much emphasis on the speeches of Lord Wilberforce in *Prenn v Simmonds* [1971] 1 WLR 1381 at 1383-5, and in *Reardon Smith Line v Hansen-Tangen* [1976] 1 WLR 989 at 995-7. Their Honours, though acknowledging that his Lordship's remarks were directed not to the implication of a term but to the application of the parol evidence rule, for in each of the two cases the issue was one of orthodox construction of a contract, thought that the remarks had significance for the implication of a term in a contract. With this I agree. But there is a question whether these two cases and other authorities support the Court of Appeal's view that it is legitimate to take into account the common beliefs of the parties as developed and manifested during their antecedent negotiations.

The broad purpose of the parol evidence rule is to exclude extrinsic evidence (except as to surrounding circumstances), including direct statements of intention (except in cases of latent ambiguity) and antecedent negotiations, to subtract from, add to, vary or contradict the language of a written instrument: *Goss v Lord Nugent* (1833) 5 B & Ad 58 at 64-5; 110 ER 713 at 716. Although the traditional expositions of the rule did not in terms deny resort to extrinsic evidence for the purpose of interpreting the written instrument, it has often been regarded as prohibiting the use of extrinsic evidence for this purpose. No doubt this was due to the theory which came to prevail in English legal thinking in the first half of this century that the words of a contract are ordinarily to be given their plain and ordinary meaning. Recourse to extrinsic evidence is then superfluous. At best it [348] confirms what has been definitely established by other means; at worst it tends ineffectively to modify what has been so established.

On the other hand, it has frequently been acknowledged that there is more to the construction of the words of written instruments than merely assigning to them their plain and ordinary meaning: see, for example, the remarks of Knox CJ in *Life Insurance Co of Australia Ltd v Phillips* (1925) 36 CLR 60 at 69. This has led to a recognition that evidence of surrounding circumstances is admissible in aid of

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the construction of a contract. So Lord Wilberforce in *L Schuler AG v Wickman Machine Tool Sales Ltd* [1974] AC 235, was able to state the broad thrust of the rule in this way (at 261):

> The general rule is that extrinsic evidence is not admissible for the construction of a written contract; the parties' intentions must be ascertained, on legal principles of construction, from the words they have used. It is one and the same principle which excludes evidence of statements, or actions, during negotiations, at the time of the contract, or subsequent to the contract, any of which to the lay mind might at first sight seem to be proper to receive.

His Lordship noted that evidence of surrounding circumstances is an exception to the rule, but he had no occasion to discuss its scope for there it was not, as it is here, a critical question.

However, as Lord Wilberforce had earlier pointed out in his speech in *Prenn*, a speech in which four other members of the House of Lords concurred, the English rule forbidding recourse to extrinsic evidence is not as strict as some have thought. The issue in *Prenn* was whether the word "profits" meant the separate profits of RTT, a company controlled by the appellant, or the consolidated profits of the group of companies consisting of RTT and its subsidiaries. It was held that, although evidence of prior negotiations and of the parties' intentions, and a fortiori the intentions of one of the parties, ought not to be received, evidence restricted to the factual background known to the parties at or before the date of the contract, including evidence of the "genesis" and objectively of the "aim" of the transaction, was admissible. Considered in the light of this evidence "profits" meant "consolidated profits".

Lord Wilberforce said (at 1383-4):

> The time has long passed when agreements, even those under seal, were isolated from the matrix of facts in which they were set and interpreted purely on internal linguistic considerations. There is no need to appeal here to any modern, anti-literal, tendencies, for Lord Blackburn's well known judgment [349] in *River Wear Commissioners v Adamson* (1877) 2 App Cas 743 at 763, provides ample warrant for a liberal approach. We must, as he said, inquire beyond the language and see what the circumstances were with reference to which the words were used, and the object, appearing from those circumstances, which the person using them had in view. Moreover, at any rate since 1859 (*Macdonald v Longbottom* (1860) 1 El & El 977; 120 ER 1177) it has been clear enough that evidence of mutually known facts may be admitted to identify the meaning of a descriptive term.

His Lordship went on to assert that the well-known decision of Cardozo J in *Utica City National Bank v Gunn* 118 NE 607 (1918), "followed precisely the English line": at 1384. There extrinsic evidence of the circumstances in which a guarantee was executed and of its object was received for the purpose of giving the words "loans and discounts" the looser meaning of "renewals". Lord Wilberforce quoted with evident approval the comment of Cardozo J (at 608) that surrounding circumstances may "stamp upon a contract a popular or looser meaning" than the strict legal meaning, certainly when to adopt the latter would make the transaction futile.

In *Macdonald* it had been held that the defendant's contract to buy "your wool" included not only wool which the plaintiffs had on their own farms, but also wool which they had bought in from other farms, one of the plaintiffs having stated before the contract in a conversation with the defendant's agent that he had wool from those two sources. This decision was followed in *Bank of New Zealand v Simpson* [1900] AC 182. Lord Davey (at 188-9) quoted with approval the remarks of Lord Campbell in *Macdonald* (983-4; 1179):

> I am of opinion that, when there is a contract for the sale of a specific subject matter, oral evidence may be received, for the purpose of shewing what that subject matter was, of every fact within the knowledge of the parties before and at the time of the contract.

Lord Campbell, after referring to the conversation relating to the sources of the plaintiffs' wool continued:

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> The two together constituted his wool; and, with the knowledge of these facts, the defendant contracts to buy "your wool". There cannot be the slightest objection to the admission of evidence of this previous conversation, which neither alters nor adds to the written contract, but merely enables us to ascertain what was the subject matter referred to therein.

[350] It is apparent that the principle on which the Judicial Committee acted in *Simpson* is that where words in a contract are susceptible of more than one meaning extrinsic evidence is admissible to show the facts which the negotiating parties had in their mind. Later in *Great Western Railway and Midland Railway v Bristol Corp* (1918) 87 LJ Ch 414, Lord Atkinson (at 418-19) and Lord Shaw (at 424-5) stated that evidence of surrounding circumstances was inadmissible except to resolve an ambiguity, that is, where the words are susceptible of more than one meaning, and that Lord Blackburn was dealing with just such a case in *River Wear Commissioners*. Their Lordships took the view that evidence of surrounding circumstances was not admissible to raise an ambiguity for in their opinion that would be to contradict or vary the words of the written document, the assumption being that in the overwhelming majority of cases the written words will have a fixed meaning. Lord Wrenbury thought otherwise, stating (at 429) that in every case of construction extrinsic evidence is receivable to raise and resolve an ambiguity.

Lord Wilberforce in *Prenn* did not discuss these competing views, perhaps because the difference between them is more apparent than real. However, I doubt whether English and United States use of extrinsic evidence for the purpose of interpretation is quite as uniform as his Lordship appeared to think.

Lord Wilberforce returned to the same theme in *Reardon Smith*. In a speech concurred in by a majority of the members of the House of Lords he acknowledged that it is legitimate "to have regard to … 'the surrounding circumstances' ": at 995. He went on to say (at 995-6):

> In a commercial contract it is certainly right that the court should know the commercial purpose of the contract and this in turn presupposes knowledge of the genesis of the transaction, the background, the context, the market in which the parties are operating.

After discussing *Utica, Prenn* and *Wickman*, his Lordship continued (at 996):

> [351] It is often said that, in order to be admissible in aid of construction, these extrinsic facts must be within the knowledge of both parties to the contract, but this requirement should not be stated in too narrow a sense. When one speaks of the intention of the parties to the contract, one is speaking objectively — the parties cannot themselves give direct evidence of what their intention was — and what must be ascertained is what is to be taken as the intention which reasonable people would have had if placed in the situation of the parties. Similarly when one is speaking of aim, or object, or commercial purpose, one is speaking objectively of what reasonable persons would have in mind in the situation of the parties.

His Lordship thought that this approach was supported by the speeches in *Hvalfangerselskapet Polaris Aktieselskap v Unilever Ltd* (1933) 39 Com Cas 1 and *Charrington & Co Ltd v Wooder* [1914] AC 71. He expressed the conclusion to be drawn from them in this way (at 997):

> what the court must do must be to place itself in thought in the same factual matrix as that in which the parties were. All of these opinions seem to me implicitly to recognise that, in the search for the relevant background, there may be facts which form part of the circumstances in which the parties contract in which one, or both, may take no particular interest, their minds being addressed to or concentrated on other facts so that if asked they would assert that they did not have these facts in the forefront of their mind, but that will not prevent those facts from forming part of an objective setting in which the contract is to be construed.

In *DTR Nominees Pty Ltd v Mona Homes Pty Ltd* (1978) 138 CLR 423, Stephen and Jacobs JJ and I, following *Prenn*, in a joint judgment said (at 429):

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> A court may admit evidence of surrounding circumstances in the form of "mutually known facts" "to identify the meaning of a descriptive term" and it may admit evidence of the "genesis" and objectively the "aim" of a transaction to show that the attribution of a strict legal meaning would "make the transaction futile".

And in *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 53 ALJR 745 at 748, in a judgment concurred in by other members of the court I not only accepted and applied the statement in the majority judgment in *BP Refinery* of the conditions necessary to support the implication of a term, but I also accepted and applied Lord Wilberforce's different treatment, for the purpose [352] of construing a contract, of evidence of surrounding circumstances on the one hand and of the parties' intentions on the other hand. Having considered the topic in more detail on this occasion I see no reason to qualify what I then said.

The true rule is that evidence of surrounding circumstances is admissible to assist in the interpretation of the contract if the language is ambiguous or susceptible of more than one meaning. But it is not admissible to contradict the language of the contract when it has a plain meaning. Generally speaking facts existing when the contract was made will not be receivable as part of the surrounding circumstances as an aid to construction, unless they were known to both parties although, as we have seen, if the facts are notorious, knowledge of them will be presumed.

It is here that a difficulty arises with respect to the evidence of prior negotiations. Obviously the prior negotiations will tend to establish objective background facts which were known to both parties and the subject matter of the contract. To the extent to which they have this tendency they are admissible. But in so far as they consist of statements and actions of the parties which are reflective of their actual intentions and expectations they are not receivable. The point is that such statements and actions reveal the terms of the contract which the parties intended or hoped to make. They are superseded by, and merged in, the contract itself. The object of the parol evidence rule is to exclude them, the prior oral agreement of the parties being inadmissible in aid of construction, though admissible in an action for rectification.

Consequently when the issue is which of two or more possible meanings is to be given to a contractual provision we look, not to the actual intentions, aspirations or expectations of the parties before or at the time of the contract, except in so far as they are expressed in the contract, but to the objective framework of facts within which the contract came into existence, and to the parties' presumed intention in this setting. We do not take into account the actual intentions of the parties and for the very good reason that an investigation of those matters would not only be time consuming but it would also be unrewarding as it would tend to give too much weight to these factors at the expense of the actual language of the written contract.

There may perhaps be one situation in which evidence of the actual intention of the parties should be allowed to prevail over their presumed intention. If it transpires that the parties have refused to include in the contract a provision which would give effect to the presumed intention of persons in their position it may be proper to receive evidence of that refusal. After all, the court is interpreting [353] the contract which the parties have made and in that exercise the court takes into account what reasonable men in that situation would have intended to convey by the words chosen. But is it right to carry that exercise to the point of placing on the words of the contract a meaning which the parties have united in rejecting? It is possible that evidence of mutual intention, if amounting to concurrence, is receivable so as to negative an inference sought to be drawn from surrounding circumstances. See *Heimann* (at 695).

The importance of this evolution of the law as it affects the construction of contracts is that it centres upon the presumed, rather than the actual, intention of the parties. Once it is accepted that in the construction of the contract account is taken of the presumed intention of the parties it naturally follows that account should also be taken of their presumed intention when the court is called upon to decide whether a term is to be implied. The existence of the remedy of rectification and the purpose which it serves make it obvious that the actual intention of the parties cannot constitute the basis of an

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implied term. However, it is equally obvious that in making the inquiry whether a term is to be implied the court is no more confined than it is when it construes the contract. For the implication of a term is an illustration of the process of construction, though differing from the more orthodox ascertainment of the meaning of a contractual provision.

There are, of course, older authorities which support a more restricted approach to the implication of a term. One example is the statement of Jordan CJ in *Heimann* (at 695) which confines recourse to the intention manifested by the express terms of the contract. It was later approved by Latham CJ in *Scanlan's New Neon Ltd v Tooheys Ltd* (1943) 67 CLR 169 at 195. These statements reflect an unduly restrictive approach to construction, an approach which is outmoded or "antiquated", to use the expression favoured in *Wigmore on Evidence* 3rd ed (1940), vol 9, para 2465 (p 214). Indeed, they do not accord with the approach taken by the majority of this court in *Scanlan's*.

The implication of the term found by the Court of Appeal rests on findings made by the Arbitrator based on circumstances surrounding the making of the contract, including evidence of the discussions between the parties which preceded entry into the contract. Thus the Arbitrator found that there was a common understanding [354] (described as a "belief" by the Court of Appeal) that the works would be carried out on a three shift continuous basis six days per week and without restriction as to Sundays. He also found that the Authority had represented to Codelfa, and that it had accepted, that no injunction would be granted in relation to noise or other nuisance. He further found that the works could not be carried out in accordance with methods and programmes agreed between the parties unless Codelfa worked three shifts a day for six days a week.

The first question is whether, in the light of the principles as I have explained them, it was legitimate to look to this material on the issue of implication of a term. I think it was. The discussions which generated these findings were not negotiations about the terms of the contract. The terms of the contract documents had been determined in advance by the Authority. By lodging its tender Codelfa accepted the Authority's contract documents. The relevant discussions were therefore directed to the question of price. Their object was to enable Codelfa to inform itself of what was involved in the work and to cost it so as to arrive at a price for inclusion in its tender. The consequence is that the discussions did not have the character of negotiations in the course of which the parties gradually evolved the terms of a bargain ultimately embodied in written form. Had the discussions been of that kind then, as we have seen, recourse to them would have been prohibited for the purpose of interpreting the contract by reference to the parties' actual intentions as expressed before entry into the contract. As it was, the relevant discussions reflect neither the preliminary consensus that merged into the written contract, nor statements made during the course of negotiations indicative of the unilateral intentions of each party. Instead the evidence revealed a matter which was in the common contemplation of the parties yet was not a contractual provision actually agreed upon for the simple reason that it was a matter of common assumption. To say that the maintenance of three eight hour shifts a day for six days a week was a matter of common contemplation between the parties is not enough in itself to justify the implication of a term. Lord Atkin's example of the sale of a painting believed by both seller and buyer to be the work of an old master (*Bell* at 226) is a striking illustration. It must appear that the matter of common contemplation was necessary to give the contract business efficacy and that the term sought to be implied is so obvious that it goes without saying. [355] In this case the problem, as I see it, lies not so much in saying that the implication of a term is necessary to give business efficacy to the contract, as in concluding that the particular term to be implied is so obvious that "it goes without saying". However, before I examine this question in detail I should reject the Authority's invitation to apply the decision of the House of Lords in *Thorn v Mayor and Commonalty of London* (1876) 1 App Cas 120. There it was held that a person calling for tenders on the basis of plans and specifications setting the work to be executed does not impliedly warrant that the work can be successfully executed according to such plans and specifications. That, so it seems to me, was a very different case. Plans and specifications required the building of Blackfriars Bridge by means of caissons designed by the defendants' engineer. The caissons as designed were not strong enough to withstand the pressure of the river with the consequence that work done was wholly lost

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and additional work had to be undertaken. The contractor's case based on an implied warranty failed, there being some indications in the contract inconsistent with the existence of such a warranty.

Lord Cairns LC (at 127) acknowledged that the contractor might have a claim on a quantum meruit for the additional work performed and that he might perhaps have refused to go on with the contract on the ground that the new work was "additional or varied work, so peculiar, so unexpected, and so different from what any person reckoned or calculated upon".

Lord Chelmsford (at 132) thought that "in the exercise of common prudence" the contractor before tender ought to have informed himself of: "all the particulars connected with the work, and especially as to the practicability of executing every part of the work contained in the specification, according to the specified terms and conditions". As a canon of commonsense this statement cannot be faulted. But it cannot be elevated into an absolute rule of law; its value and force necessarily depends on the relationship between the parties and the arrangements which they make.

Even so, there remains an insurmountable problem in saying that "it goes without saying" that had the parties contemplated the possibility that their legal advice was incorrect and that an injunction might be granted to restrain noise or other nuisance, they would have settled upon the term implied by the Court of Appeal or that implied by the Arbitrator and by Ash J at first instance. I doubt whether the fiction of treating the parties as reasonable and fair makes the problem any the less difficult. This is not a case in which [356] an obvious provision was overlooked by the parties and omitted from the contract. Rather it was a case in which the parties made a common assumption which masked the need to explore what provision should be made to cover the event which occurred. In ordinary circumstances negotiation about that matter might have yielded any one of a number of alternative provisions, each being regarded as a reasonable solution.

The difficulty which I have with the implication of a term here is much the same as the difficulty that Lord Reid had in *Davis Contractors Ltd v Fareham Urban District Council* [1956] AC 696, in accepting that the doctrine of frustration rests on an implied term: see at 719-21. It is greater because in many situations it is easier to say that the parties never agreed to be bound in a fundamentally different situation which has unexpectedly emerged than it is to assert that in a like situation the parties have impliedly agreed that the contract is to remain on foot with a new provision, not adverted to by them, governing their rights and liabilities. My reluctance to imply a term is the stronger because the contract in this case was not a negotiated contract. The terms were determined by the Authority in advance and there is some force in the argument that the Authority looked to Codelfa to shoulder the responsibility for all risks not expressly provided for in the contract. It is a factor which in my view makes it very difficult to conclude that either of the terms sought to be implied is so obvious that it goes without saying.

Accordingly, my conclusion is that, if Codelfa is entitled to any relief in respect of the changed circumstances, that relief is more appropriately founded on the doctrine of frustration than on the implication of a term. I therefore have no need to consider other arguments advanced by the Authority based on specific provisions in the contract against the implication of a term, although cl s 8(2)(c) of the specification, a provision which I consider later in connection with frustration, would require careful consideration before implying the term found by the Court of Appeal.

Frustration

[15.40] In *Brisbane City Council v Group Projects Pty Ltd* (1979) 54 ALJR 25 at 28–9, Stephen J discussed the authorities. The more recent authorities, *National Carriers Ltd v Panalpina Ltd* [1981] 2 WLR 45 and *Pioneer Shipping v BTP Tioxide* [1981] 3 WLR 292, do not call for any revision of that dis-[357]cussion. I agree with Stephen J's acceptance of the approach adopted by Lord Reid and Lord Radcliffe in *Davis Contractors*. Lord Reid said that the task of the court is to determine (at 720–1):

> on the true construction of the terms which are in the contract read in light of the nature of the contract and of the relevant surrounding circumstances, … [and] whether the contract

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> which they did make is … wide enough to apply to the new situation: if it is not, then it is at an end.

Later he described (at 723) frustration as "the termination of the contract by operation of law on the emergence of a fundamentally different situation".

Lord Radcliffe said (at 729):

> frustration occurs whenever the law recognises that without default of either party a contractual obligation has become incapable of being performed because the circumstances in which performance is called for would render it a thing radically different from that which was undertaken by the contract … It was not this that I promised to do.

His Lordship, noting that special importance attaches to an unexpected event, observed: "There must be as well such a change in the significance of the obligation that the thing undertaken would, if performed, be a different thing from that contracted for". It is implicit, if not explicit, in the judgment of Stephen J, as in the speeches of Lord Reid and Lord Radcliffe in *Davis Contractors*, that to express a preference for this view of frustration as against the theory of the implied condition and other suggested bases is not to cast doubt on the authority of earlier decisions. This is of critical importance because the earlier cases provide many illustrations of the proposition that a contract will be frustrated when the parties enter into it on the common assumption that some particular thing or state of affairs essential to its performance will continue to exist or be available, neither party undertaking responsibility in that regard, and that common assumption proves to be mistaken: see, for example, *FA Tamplin Steamship Co Ltd v Anglo-Mexican Petroleum Products Co Ltd* [1916] 2 AC 397 (charterparty of a vessel requisitioned in time of war); *Denny, Mott and Dickson Ltd v James B Fraser & Co Ltd* [1944] AC 265 (trading agreement between timber merchants affected by prohibition under legislative authority of continued trading in time of war). Two objections may be urged to the width of the proposition I have stated.

The first is that the common assumption must be found in the contract itself. The answer to this objection is that, granted that the assumption needs to be contractual, in the case of frustration, as [358] with the implication of a term, it is legitimate to look to extrinsic evidence in the form of relevant surrounding circumstances to assist us in the interpretation of the contract, unless its language is so plain that recourse to surrounding circumstances would amount to no more than an attempt to contradict or vary the terms of the contract. Cases such as *Krell v Henry* [1903] 2 KB 740 demonstrate the point. There the contract was for the hire of a flat for two particular days, the unexpressed common assumption being that the flat was hired for the purpose of viewing the coronation processions. The Court of Appeal held that the taking place of the processions was the foundation of the contract and that the rent was not recoverable on the processions being cancelled due to the King's illness. The correctness of that decision was questioned by Lord Finlay LC in *Larrinaga & Co Ltd v Société Franco-Americaine des Phosphates de Medulla, Paris* (1923) 29 Com Cas 1 at 7 on the ground that the parties may have contracted in the expectation that a particular event would happen, each taking his chance, but not making the happening of the event the basis of the contract. In *Maritime National Fish Ltd v Ocean Trawlers Ltd* [1935] AC 524, Lord Wright (at 528–9) referred to Lord Finlay's comment, remarking that *Krell v Henry* was an authority not "to be extended". This comment is not so much a criticism of the reception of the extrinsic evidence in that case as an adverse reflection on its capacity to negate the possibility that each party was taking his chance on the outcome.

Krell v Henry was strongly criticised by Latham CJ in *Scanlan's* (at 188–94), but much of his Honour's criticism appears to be founded on the outmoded view, rejected by McTiernan and Williams JJ, that it was not legitimate to take extrinsic evidence into account. Even so, his Honour was disposed to concede (at 193) that *Krell v Henry* could be more readily understood as a contract which was subject to a condition or as a conditional contract. It is not without significance that the parol evidence rule has never been applied so as to exclude evidence of a condition, non-fulfilment of which goes to the existence or validity of the contract. In any event McTiernan and Williams JJ took a more favourable

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view of *Krell v Henry*, demonstrating that it was consistent with the later cases and that the views expressed by Vaughan Williams LJ in that case conformed to the doctrine of frustration as it was subsequently elaborated. Of course, we need to read the judgments in *Scanlan's* in the light of the more recent statements as to the [359] theoretical basis of the doctrine. However, in my view they do not affect the point now under discussion, except to reinforce the reception of extrinsic evidence of relevant surrounding circumstances. So, Lord Radcliffe in *Davis Contractors* (at 729) quoted with approval the remarks of Lord Wright in *Denny, Mott and Dickson* (at 274–5): "The data for decision are, on the one hand, the terms and construction of the contract, read in the light of the then existing circumstances, and on the other hand the events which have occurred." And, as we have seen, Lord Reid was of the same opinion.

The second objection is that the proposition does not sufficiently acknowledge the fact that the event which generally, if not universally, works a frustration, is an event which supervenes after the making of the contract, viz a change in the law which make it impossible for the parties to execute the contract. It is not surprising that the cases commonly throw up situations of supervening impossibility caused by a change in the law; they are the more common instances of the unforeseen or unexpected occurrence. But in principle there is no reason why a mutual assumption arising from a mistaken view that an activity is immune from injunctive relief should not attract the principle of frustration. No doubt it is more difficult in such a case to show that the grant of injunctive relief was not foreseen or could not reasonably have been foreseen, but if that can be shown then the doctrine of frustration should apply. The injunction is a supervening event though it does not stem from any alteration in the law.

An unusual element in the present case is that the parties appear to have received, accepted and acted on erroneous legal advice that the contract work could not be impeded by the grant of an injunction to restrain noise or other nuisance, advice which was based on an erroneous interpretation of s 11 of the *City and Suburban Electric Railways Act 1915* (NSW). One might have expected the parties and their advisers to have had reservations about the correctness of the advice and to have given consideration to the possibility that, despite the advice, an injunction might be granted. However, the findings do not reflect the existence of any reservations; indeed, they record Codelfa's acceptance of the representations made by the Authority. Codelfa is a wholly owned subsidiary of an Italian company and this may explain Codelfa's willingness to accept and act on the representation made by the Authority. [360] The doctrine of frustration is closely related to the concept of mutual mistake. However, in general, relief on the ground of mutual mistake is confined to mistakes of fact, not of law. If the common contractual assumption is of present fact it is a case of mutual mistake; if the assumption is of future fact it is a case of frustration (*Bell* at 225–6 per Lord Atkin), the distinction being that in one case the contract is void ab initio and in the other it is binding until the assumption is falsified. Here the mistake is not one of present fact; it is either a mistake as to future fact or a mistake of law. Even if it be a mistake of law, this is not, I think, fatal to the application of the doctrine of frustration. The unsatisfactory distinction between a mistake of fact and one of law has not so far been carried over into frustration and I see no reason to further complicate the doctrine by invoking this distinction. The critical issue then is whether the situation resulting from the grant of the injunction is fundamentally different from the situation contemplated by the contract on its true construction in the light of the surrounding circumstances. The contract itself did not require that the work be carried out on a three shift continuous basis six days a week without restriction as to Sundays. But it required completion of the works within 130 weeks. And Codelfa with its tender had submitted a construction programme which involved a three shift continuous basis six days a week. By cl s 6 of the specifications Codelfa was required to submit a revised programme of work to the engineer for his determination within 30 calendar days of the issue of a notice to proceed under the contract. This Codelfa did. Again it made provision for the method of operation already mentioned. It was accepted by the engineer.

It is in this contractual setting that the findings of the Arbitrator have special significance. [His Honour set out the findings of the arbitrator and continued] [361] The submission of the proposed

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programme of work with the tender, its supersession by the revised programme pursuant to cl s 6 of the specifications, together with the very provisions of cl s 6 itself dealing with the construction programme, provide a link between the contract and the antecedent discussions so as to enable us, subject to a consideration of specific provisions in the specifications, to say that the contract contemplated that completion would be achieved within the time stipulated by the method of work already mentioned, it being assumed that it could not be disturbed by the grant of an injunction.

I reject the Authority's argument that cl s 6 is inconsistent with the notion that the contract looked to this method of work as the mode by which the work was to be completed. Certainly cl s 6(5) envisaged that a major change to the work diagram as determined by the engineer might be required by "revisions to the programme". It seems that the responsibility for initiating such a change lay with Codelfa. But I do not think that this is necessarily inconsistent with Codelfa's case on frustration nor do I think that cl g 44(7) of the contract, which provides for the grant of an extension of time in case of delays "owing to causes beyond the control or without the fault or negligence of the Contractor", covers the position. Delay due to the grant of an injunction on the ground of nuisance committed by [362] Codelfa scarcely answers this description, even though it results from performance of the work in the only manner which will enable completion to take place within the time stipulated.

Clause s 8(2)(c) however, poses a greater obstacle. It provides:

> The operation of all plant and construction equipment shall be such that it does not cause undue noise, pollution or nuisance. This may require the use of sound insulated compressors and air tools, silencers on ventilating fans and restrictions on the working hours of plant or such other measures as approved by the engineer. The contractor shall not be entitled to additional payment if the engineer requires that measures be taken to reduce noise and pollution.

Once the injunctions were granted the engineer gave notices reflecting the provisions of the injunctions, restricting the hours of work so as to prohibit work at night and thereby inhibited Codelfa from continuing with its three shift operation under the contract. The first paragraph of cl s 8(2)(c) contains a promise by Codelfa that it will not operate plant and equipment so as to cause a nuisance. The second specifically looks to the possibility of a restriction on working hours of plant. And the third denies additional remuneration if the engineer requires measures to be taken to reduce noise and pollution. Do these provisions support the view that Codelfa was undertaking in any event to perform the contract work, even though the method contemplated by the parties might prove to be unlawful or impossible by reason of its amounting to a nuisance and its being restrained by injunction? I do not think that cl s 8(2)(c) has such a wide-ranging effect. It involves no subtraction from the language of the provisions to say that it is quite consistent with the contemplated method of work being an essential element of the contract. Indeed, there would be no inconsistency between these provisions and an explicit provision for termination of the contract in the event that the method of work was restrained by injunction. There was plenty of scope for an exercise of the engineer's power under the second paragraph so long as it did not displace the continuation of that method of work. I come back then to the question whether the performance of the contract in the new situation was fundamentally different from performance in the situation contemplated by the contract. The answer must, I think, be in the affirmative. Paragraphs 14, 15, 16, 18 and 19 of the Arbitrator's award go a long way towards establishing this answer. The finding contained in para 16 proceeds on the footing that the contract work could not be carried out as contemplated by the contract once injunctions were granted, the effect of which was to prohibit the continuous three shift a day [363] operation six days a week. Performance by means of a two shift operation, necessitated by the grant of the injunctions, was fundamentally different from that contemplated by the contract.

There is, of course, no inconsistency between the conclusion that a term cannot be implied and the conclusion that events have occurred which have brought about a frustration of the contract. I find it impossible to imply a term because I am not satisfied that in the circumstances of this case the term sought to be implied was one which parties in that situation would necessarily have agreed

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upon as an appropriate provision to cover the eventuality which has arisen. On the other hand I find it much easier to come to the conclusion that the performance of the contract in the events which have occurred is radically different from performance of the contract in the circumstances which it, construed in the light of surrounding circumstances, contemplated.

It is the stated case in action No 12577 of 1978 that presents the issues relating to frustration. In that action Codelfa sought relief against the Authority on the footing that the contract had been frustrated. The action was commenced on 23 May 1978 after Yeldham J had ruled on 9 September 1976, following the Privy Council's decision in *Hirji Mulji v Cheong Yue Steamship Co* [1926] AC 497, as he was bound to do, in preference to the conflicting decision of the House of Lords in *Heyman v Darwins Ltd* [1942] AC 356, that the Arbitrator had no jurisdiction to entertain a claim based on frustration …

[364] *Hirji Mulji* decided that an arbitrator had no jurisdiction under an arbitration clause in a charterparty when the charterparty was terminated by frustration because the arbitration clause was brought to an end with the contract of which it formed part. In *Heyman* the House of Lords decided that an arbitration clause, which provided that any difference or dispute which might arise "in respect of" or "with regard to" or "under the" contract should be referred to arbitration, applied to a dispute arising out of a claim by one party that liability under the contract had been discharged by reason of repudiation which had been accepted. In *Heyman* their Lordships drew a distinction between a contract void ab initio, in which event there is no valid submission to arbitration, and a valid contract which is subsequently repudiated, where acceptance of the repudiation leaves the contract, including the arbitration clause, on foot for the purpose of enforcement, though performance under the contract is at an end. Viscount Simon LC (at 367), Lord Wright (at 383) and Lord Porter (at 395) thought that the effect of frustration was similar to that of repudiation which has been accepted by the innocent party, with the consequence that the arbitration clause is left on foot. Although Lord Wright and Lord Porter did not express a concluded opinion upon the question, they nevertheless expressed reasons for arriving at a result contrary to that reached in *Hirji Mulji*. As might be expected, emphasis was [365] given to the need to construe the relevant arbitration clause so as to ensure that it comprehends the particular dispute or difference which has arisen between the parties. In this action the Lord Chancellor expressly left open the effect of *Scott v Avery* clause.

Lord Macmillan, who spoke for Lord Russell of Killowen as well, in putting cases of frustration to one side, expressed doubt (at 375) as to the correctness of some of the views enunciated by Lord Sumner in *Hirji Mulji*. Nothing in Lord Macmillan's speech is inconsistent with the proposition that frustration does not put an end to a submission to an arbitration clause so expressed as to confer jurisdiction on an arbitrator to decide a dispute relating to frustration. Indeed, the emphasis which his Lordship gave to the special nature and purpose of arbitration clauses suggests that he would have come to the same conclusion upon the point as that reached by the Lord Chancellor.

In my opinion, the reasoning of the House of Lords in *Heyman* is to be preferred to that of Lord Sumner in *Hirji Mulji*. In its application to an arbitration clause the distinction between a contract which is void ab initio and a contract which is valid but subsequently repudiated is well taken. Lord Sumner was in error in holding that the acceptance by an innocent party of the repudiation of a contract brings the contract, including an arbitration clause, to an end for all purposes.

I agree with the House of Lords that the case of frustration is to be assimilated for relevant purposes to the determination of a contract by breach or by acceptance of repudiation. The fact that the Lord Chancellor proceeded on the implied term theory of frustration does not in my view affect the reasoning by which he arrived at his conclusion.

The relevant clause in the contract in the present case, cl G 46, contains *Scott v Avery* clause. Clause g 46, so far as is relevant is in these terms:

(1) Except as otherwise specifically provided in the contract all disputes arising out of the contract during the progress of the works or after completion or as to any breach or alleged breach thereof shall be decided by the Commissioner.

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(4) Submission to arbitration shall be deemed to be a submission to arbitration within the meaning of the *New South Wales Arbitration Act 1902* or any statutory modification thereof.

(5) No action or suit shall be brought or maintained by the Contractor or the Commissioner against the other of them to recover any money for or in respect of or arising out of any breach or alleged breach of this contract by the Contractor or [366] the Commissioner or for or in respect of any matter or thing arising out of this contract unless and until the contractor or the Commissioner shall have obtained an award of an Arbitrator appointed under this clause for the amount sued for.

Subclause (1) refers to "all disputes arising out of the Contract", an expression wider than "disputes *under* the contract", the expression which Lord Wright in *Heyman* was inclined to think sufficient to confer jurisdiction on the Arbitrator with respect to frustration, had the question arisen in that case. The subclause was plainly wide enough to embrace a dispute arising out of a claim by Codelfa for remuneration on a quantum meruit based on frustration of the contract.

To my mind the fact that subcl (5) is a *Scott v Avery* clause does not diminish the jurisdiction of the Arbitrator. Indeed, once the conclusion is reached that the submission to arbitration is broad enough to include the dispute, even though it relates to frustration, subcl (5) operates to condition curial jurisdiction on the existence of an award … The true position, as it seems to me, is that the Arbitrator had, and has, jurisdiction to deal with this issue and that the parties by cl g 46(5) effectively conditioned their right to sue, whether on the contract or in quasi-contract, on the existence of an award … [W]e should follow the course of remitting the matter to the Arbitrator so that he can exercise the jurisdiction which has hitherto been denied to him.

[367] There may be a question, assuming frustration, as to whether the contract was frustrated on 28 June 1972. The first injunction was granted on that day. It did not restrict the hours of working; it restrained blasting of such intensity that rocks were propelled into surrounding residential areas. However, it also restrained Codelfa from detonating explosives in such a way as to cause or permit to be emitted from the site vibrations or noise to such a degree as to occasion to the plaintiff a nuisance or annoyance. The judgment expressly rejected Codelfa's claim of immunity based on s 11 of the *City and Suburban Electric Railways Act*. It therefore destroyed the common belief of the parties that no injunction could be granted to restrain noise or other nuisance on the part of Codelfa in the construction of the works and it effectively resulted in a situation, confirmed by the later injunctions, where the work could not be continued on the footing of a continuous three shift operation a day for six days a week. However, the matter is for the Arbitrator to decide …

AICKIN J:

Implied term

[15.45] [373] Logically the question whether there is to be a term implied into the contract must be dealt with before the question of possible frustration can arise. Accordingly I must first deal with the term implied by the Court of Appeal. One approach to this question has been to postulate the presence of the "officious bystander" who is present throughout the negotiations and intervenes before their conclusion. This has been the formula used since MacKinnon LJ introduced it in *Shirlaw v Southern Foundaries (1926) Ltd*. It is [374] not always a helpful or useful process and there are particular problems in applying the traditional approach to cases of building or construction contracts. I note in passing that Lord Denning's attempt to "kill off" the officious bystander in *Liverpool City Council v Irwin* [1976] 1 QB 319, did not commend itself to the House of Lords in the same case, *Liverpool City Council v Irwin* [1977] AC 239. However it seems no longer the exclusive means of approaching the question.

The first problem is that the manner in which the officious bystander formulates his question will often determine the answer which the parties will give. In the present case if the question put was "What will be the position if the Authority's legal advice about immunity is wrong?", the answer would be very different from that which might be received to the question "What will happen if an

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injunction is granted?". Yet it seems to me with respect that the former question is equally, if not more, appropriate. One may formulate a further query; must the officious bystander be satisfied with the first response or may he pose a second question, and if not, why not?

The second problem, which does not seem to have been expressly averted to in the authorities is the manner in which the doctrine of implied terms should be applied in the case of "contracts of adhesion" where the terms are not the result of negotiation (except as to price) but are provided in a standard form designed by one party upon which the other must tender. In the present case the only questions for negotiation were the price and one aspect of the mode of performance of part of the work …

Frustration

[15.50] We are of course not bound by the decisions of the House of Lords but the decisions in *Davis Contractors*, *National Carriers* and *Pioneer Shipping* provide valuable guidance on the present topic. The fact that their Lordships have now firmly adopted a basis for the application of the doctrine of frustration which departs from that adopted in earlier decisions of the House of Lords and from the manner in which the doctrine was expressed in this court by Latham CJ in *Scanlan's New Neon Ltd v Tooheys Ltd* presents no reason why we should not now apply the doctrine adopted by their Lordships in those cases if we think that it is right. For my own part I would with respect adopt the reasons of the House of Lords in those three cases as being preferable to the other bases which have been suggested from time to time. Their test has the advantage of being flexible and capable of application to a wide range of circumstances and lacks the degree of unreality involved in the implied term theory. I would, like Stephen J in the *Brisbane City Council* case, prefer to express my conclusion in the present case on the basis of Lord Radcliffe's formulation.

Having applied that test I am satisfied that the contract between the Authority and the Contractor was frustrated by the grant of the injunction prohibiting work on the tunnels between the hours of 10 pm and 6 am …

[381] It is plain on the findings of the Arbitrator that both parties proceeded upon the assumption that the works could be lawfully completed within the specified time by continuous work on a three shift basis for six days a week. The situation became one in which it was impossible to perform the contract in accordance with its terms, impossible because court orders restrained the mode of performance, which was held to constitute a nuisance, but which was critical to the completion of the works within the time allowed … This situation does not appear to be the subject of any decided cases. It bears a superficial resemblance to two of the "Suez Canal cases" but an examination of those cases shows that they are significantly different. The first was *Tsakiroglou & Co Ltd v Noblee Thorl GmbH*. In that case there was a contract by which the sellers agreed to sell to buyers Sudanese ground nuts for shipment cif Hamburg during November/December 1956. On 2 November the Suez Canal was closed but the goods could have been shipped round the Cape of Good Hope. That route was more than twice as long and much more expensive. The sellers did not ship the goods. In arbitration proceedings the sellers were held to be in default. It was held that there was no implied term that shipment was to be by Suez or by the customary route at the date of the contract and that the sellers' obligation was to ship the goods to their [382] destination by a reasonable and practicable route if available. It was also said that although the route via the Cape involved a change in the method of performance, it was not such a fundamental change as to bring about frustration. An important feature of the case however is that there was no evidence that the buyers attached any importance to the route, that is, there was no time fixed by which delivery was required to be made and the longer journey round the Cape, though more expensive, would not involve any failure to deliver in accordance with the contract. To the same effect was *The Eugenia* [1964] 2 QB 226, where the blocking of the Suez Canal was held not to bring about "so fundamentally different a situation" as to frustrate a charterparty. Lord Denning MR said (at 239) that the parties foresaw the possibility that the Canal might be closed but were unable to agree on what provision should be made for it. He said that it was therefore possible to argue for frustration as the parties had made no provision for the event which happened. Lord Denning referred to the fact that there was no special reason for

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early arrival and the only effect was that the voyage was longer and more expensive. Donovan LJ also referred to the negotiations between the parties, saying that they had considered the contingency of the Canal being closed but, although suggestion had been made for a clause to deal with that question, the parties were unable to agree on what the provision should be. Donovan LJ also drew attention to the fact that there was no evidence that early arrival of the cargo was of particular importance. Danckwerts LJ agreed with both judgments.

The fact that there was no time fixed for completion of the voyage in each case is an important part of the reasoning and provides a significant difference between those cases and the present case.

It is also significant to note that in *The Eugenia* both Lord Denning MR and Donovan LJ referred to the negotiations between parties which led up to the contract. That was treated, without the need for express comment, as part of the surrounding circumstances to be taken into account.

However in the present case the contractor was obliged to complete the work within a specified time, subject only to extensions required to be granted by the Authority or its engineer in accordance with the terms of the contract. The Arbitrator took the view that more than a mere extension of the time for doing the work was involved. He found that the whole programme of the work was disrupted and would have had to be restructured. The contractor then had an apparently absolute obligation (subject to [383] questions of extension of time in accordance with other provisions of the contract) to complete the works by the original contract date in a situation in which it was impossible for that obligation to be performed lawfully.

In my opinion the grant of the injunction produced frustration in the true sense of that term. It had become unlawful to perform the work in a manner which would have complied with the requirement of the contract, a requirement well known to both parties. The fact that both parties to the contract had an understanding of the law which led them to believe that the performance of the contract on the three shift basis could not be interfered with by any private or public litigant seeking to restrain a nuisance caused by the performance of the work, does not prevent the application of the doctrine of frustration.

The situation presents a close analogy with the requisition of a ship or the issuing of restraining orders under war-time regulations which prevent the construction of a dam, rather than an analogy to the *Suez Canal* cases …

[STEPHEN and WILSON JJ delivered short judgments agreeing with the judgments of MASON and AICKIN JJ. BRENNAN J held that there was no basis for implying a term as proposed by Codelfa. His Honour was of the opinion that the granting of the injunction was not a frustrating event.]

Appeal allowed. Award remitted to Arbitrator.

LIMITATIONS ON THE DOCTRINE OF FRUSTRATION

[15.55] There are three important limitations on the doctrine of frustration:

1. The risk of the frustrating event must not have been provided for by the parties in their contract, see further *Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337 (extracted at [15.35]).
2. The purported frustrating event must not be one which the parties could "reasonably be thought to have foreseen": *Davis Contractors Ltd v Fareham UDC* [1956] AC 696, 731.

3. The frustrating event must have occurred without fault by the party seeking to rely on frustration, see *Bank Line Ltd v Arthur Capel & Co* [1919] AC 435, 452; *Paal Wilson and Co A/S v Partenreederei Hannah Blumenthal (The Hannah Blumenthal)* [1983] 1 AC 854, 909.

THE CONSEQUENCES OF FRUSTRATION

Common law

[15.60] A frustrated contract comes to an end automatically. At common law, rights and liabilities which have accrued unconditionally prior to the time of the frustrating event remain in place, while the parties will be discharged from most future obligations. This approach can make rather haphazard the right of a party to recover money paid under a contract which has only been partially performed or to be compensated for work done under a partially performed contract, as illustrated in *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 (extracted at [10.50]).

[15.65] Note

See *Baltic Shipping Co v Dillon* (1993) 176 CLR 344, 355, extracted at [27.160], where Mason CJ notes that the decision in the *Fibrosa* case correctly reflects the law in Australia and should be preferred to the decision of the High Court in *Re Continental C & G Rubber Co Pty Ltd* (1919) 27 CLR 194.

Statute

[15.70] In New South Wales, South Australia and Victoria, legislation has been enacted to vary to the common law rules and provide for the consequences of frustration. See further the *Frustrated Contracts Act 1978* (NSW); the *Frustrated Contracts Act 1988* (SA); the *Australian Consumer Law and Fair Trading Act 2012* (Vic), Pt 3.2.

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PART VII

CHAPTER ***16***

Unfair contract terms

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ISSUES WITH STANDARD FORM CONTRACTS

[16.05] The unfair contract terms law contained in Pt 2-3 of the ACL regulates the use of unfair terms in standard-form consumer contracts. The characteristics of standard-form contracts and the issue of whether consumers genuinely consent to the terms in those contracts are discussed in the following extract.

Standard-form Contracting in the Electronic Age

[16.10] RA Hillman and JJ Rachlinski, "Standard-form Contracting in the Electronic Age" (2002) 77 *New York University Law Review* 429, 435.

A. The Basic Issues Presented by Paper Standard-form Contracts

1. The Paper Paradigm

People encounter standard forms in most of their contractual endeavours. From significant but infrequent transactions, such as leasing or purchasing a home or car, to everyday transactions, such as checking a coat or buying a ticket to a sporting event, standard forms govern contractual relationships.

Although such transactions differ in detail, the standard-form exchange generally involves a face-to-face meeting between a business's agent and the consumer. The agent presents a printed form to the consumer with a few basic terms to be filled in by the parties and the remaining terms already drafted and printed by the business. The business repeatedly employs the form and has invested time and money perfecting it. The form is long and full of legalese. The consumer is in a hurry.

The consumer correctly perceives several realities. First, the agent is not disposed to bargain over the boilerplate or lacks the authority to do so. In short, the business presents the form on a take-[436] it-or-leave-it basis. Second, the consumer would not understand much of the language of the boilerplate even if she took the time to read it. Third, the business's competitors usually employ comparable terms. Fourth, the remote risks allocated by the boilerplate likely will not eventuate. Fifth, the business seeks to establish and maintain a good reputation with the purchasing public and generally will stand behind its product. Sixth, the consumer expects the law to enforce the boilerplate, with the exception of offensive terms.

The consumer, engaging in a rough but reasonable cost-benefit analysis of these factors, understands that the costs of reading, interpreting, and comparing standard terms outweigh any benefits of doing so and therefore chooses not to read the form carefully or even at all. The consumer also is under some pressure from the business's agent to sign quickly and may believe that the events described in the boilerplate are too remote to be worth worrying about. To illustrate [437] all of these dynamics, analysts often employ the example of the busy traveler at an airport who is presented by an agent of the rental-car company with a long, incomprehensible standard form substantially similar to forms offered by other rental car companies. The consumer has no interest in reading or understanding these terms; she just wants to be on her way.

2. Costs and Benefits of Enforcing Standard-Form Contract Terms

As a general legal matter, parties are entitled to judicial enforcement of contract terms, including standard terms. Although standard-form contracts seem suspect and fail to satisfy contract law's

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notions of bargained-for exchange, courts and theorists generally consider enforcement of such terms appropriate. Parties are obliged to read and understand the written terms of their contracts. A clear rule holding parties to these written terms puts both parties on notice that they should read and understand written terms before signing. Furthermore, standard-form contracting has advantages, even for consumers. Standard forms are ubiquitous precisely because they provide [438] significant economies to businesses and consumers. Experienced businesses best understand what risks they can bear most efficiently and what risks should be allocated to the consumer. Careful allocation of these risks minimizes the costs of the goods or services businesses offer.

For example, consider the standard form that the manufacturer of a durable good might use. Suppose the good sometimes fails to function properly because of defective manufacture or improper use. The manufacturer should provide a warranty that covers only the risks that the product is defective, leaving the risks associated with poor maintenance to the consumer. This arrangement would place the risks the manufacturer can best control on the manufacturer and the risks the consumer can best control on the consumer, thereby avoiding expensive moral hazard and adverse selection problems. The manufacturer is therefore likely to allocate risks in this manner in its standard-form sales contract.

This example reveals that the uniformity of standard provisions across different businesses within a single profession need not be suspicious. Just as the drive to reduce costs pushes manufacturers to [439] use similar component parts, it also pushes businesses to employ comparable terms to allocate contract risks. Because the best allocation of risks is not likely to vary between businesses within an industry, most businesses will offer terms similar to those offered by their competitors. Less experienced businesses simply copy their senior counterparts. Uniformity of terms within an industry, in fact, might indicate that the industry is highly competitive.

This analysis explains why businesses resist negotiating terms in standard-form contracts. If the standard terms allocate risks efficiently, constant renegotiation is an academic exercise, inasmuch as parties are apt to settle on the same terms. Inexperienced consumers might fail to realize the efficiencies of the standard terms, but experienced businesses know that such allocations allow them to keep prices low. In short, businesses standardize their risks and reduce bargaining costs by offering one set of terms to all consumers.

Standard terms also save businesses and consumers litigation expenses because these terms typically will have withstood judicial scrutiny. In addition, repeat use of standard terms offers consumers a better chance of understanding the meaning of the terms and offers [440] courts a greater opportunity to recognize and strike offensive ones, thereby fostering migration of terms towards the reasonable.

Despite the potential benefits of standard provisions, however, courts are right to treat them with suspicion. The ability of businesses to identify efficient allocation of risks also gives them the opportunity to exploit consumers by getting them to accept contract terms that inefficiently shift risks to consumers. Businesses understand the true risks of contracts better than consumers, and hence can include terms in the form that are much more favorable to them than consumers know or appreciate. In effect, businesses have incentives and opportunities both to allocate the risks of the contract efficiently and to impose hidden risks on consumers where possible.

For example, suppose a software company sells an Internet application with a bug that makes it easier for hackers to invade the computer system of the application's users. Suppose further that the cost to the software company of remedying this bug is less than the harm it imposes on the consumers who use the software. In a well-functioning market, the manufacturer would bear the cost of fixing the bug. If consumers fail to appreciate the extent of this risk, however, the software company could, in a standard-form sales contract, allocate the risks associated with hacking to the consumers. In effect, the product becomes more expensive than it appears to consumers. Buried in the boilerplate is a term explicitly forcing consumers to bear the risks and expenses associated with hacking risks that the manufacturer knows to be real and serious, but that consumers fail to appreciate. Rather than sensibly allocating risks, the term in this example allows the business to exploit a gap in consumers' knowledge about the product's risks.

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These dynamics create a dilemma for courts. Failing to enforce a standard term against consumers could undermine an efficient allocation of contractual risks. Businesses likely will adjust the price for the [441] underlying good or service to reflect the courts' refusal to enforce the term. In the end, if the term reasonably allocated contractual risks, the judicial failure to enforce it would be a socially inefficient net loss to both businesses and consumers. Enforcing a contract term against a consumer, however, might ratify a business's efforts to take advantage of consumers.

Courts have difficulty distinguishing between terms that create a reasonable arrangement of risks and terms that constitute exploitation of consumers. They lack the incentives and experiences that allow businesses to identify and distinguish between sensible practices and opportunities to exploit consumers. Furthermore, courts typically frame the issue as a dispute between a single consumer and a business, rather than as an aggregate policy that affects the vast majority of consumers and businesses that transact with each other contentedly. Courts are thus apt to misidentify terms quite frequently.

3. The Role of Competition

In theory, consumers' best protection against exploitation is not the courts, but their own vigilance and acumen. Consumers concerned about the possibility of exploitation can try to avoid terms they consider exploitative and refuse to transact with businesses that have reputations for offering and enforcing manipulative contract terms. In [442] addition, the aggregate decisions of many consumers can pressure businesses into providing an efficient set of contract terms in their standard forms. Competition in the market for the goods or services can provide courts with some assurance that businesses will not supply exploitative terms.

Furthermore, even though many, if not most, consumers lack the time, skill, or desire to shop carefully among contract terms, economists argue that even a small percentage of savvy, vigilant consumers create adequate incentives to make businesses competitive. Unless a business easily can identify these alert consumers and offer more favorable treatment to them, it must choose between losing a small group of customers and offering efficient terms to the entire market. In a competitive market, providers of goods and services cannot afford to lose even a small group of customers. Consequently, businesses must write their boilerplate so as to compete effectively for the small group of savvy consumers.

Businesses' concern with their reputations provides a similar barrier to the exploitation of consumers. Businesses must worry that if they consistently include and enforce terms that exploit consumers, they will develop an unsavory reputation, just as if they offered shoddy goods or services. Consumers thus can protect themselves, [443] to some extent, by investigating the reputation of businesses and selecting only those with good reputations.

These factors, however, might not be adequate to ensure that all businesses consistently refrain from efforts to exploit consumers. If the number of savvy consumers is too small, businesses will not find it worthwhile to compete for them. Exploiting the ignorance of the vast majority of consumers might be more lucrative for some businesses than competing for the smart consumers. Furthermore, businesses might develop ways of identifying the savvy consumers and offering them different terms. Such a practice would leave the vast majority of consumers unprotected. Businesses also might be able to hide their reputations or manipulate consumer perception with clever advertising. To the extent that standard terms cover events that are unlikely to occur, most consumers will lack direct knowledge of businesses' practices concerning those terms. Consequently, information on businesses' reputations is apt to be unreliable.

[444] Businesses' concern with their reputations also might fail to protect consumers because businesses might be managed by unsavory short-term players who are unconcerned with their reputations. Just as courts in product liability cases do not rely exclusively on businesses' concern with their reputations to ensure that manufacturers provide efficiently safe products, courts worry that reputational concerns inadequately ensure that businesses provide efficient terms.

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Furthermore, as some commentators have argued, businesses themselves might be ignorant of the terms offered in their boilerplate agreements. Businesses often delegate the job of drafting their terms to lawyers, who believe that they can best serve their clients by composing an arsenal of one-sided terms without regard to the business environment, or for that matter, anything else. In addition, business managers might rely on some of the same cognitive processes that affect consumers. In particular, businesses might worry too much about protecting themselves from rare events, overestimating the likelihood of such events because of a few salient incidents.

Despite these concerns, courts recognize that the combination of businesses' efforts to compete for savvy consumers and businesses' concerns with their reputations often will dissuade them from attempting [445] to exploit consumers with standard terms. Courts are also mindful of their own limited ability to distinguish exploitation from sensible business practices and of the costs associated with mistakenly refusing to enforce the latter. The adverse consequences of judicial reliance on market discipline might, in many cases, be less harmful than the consequences of judicial interference with sensible business practices. Therefore, courts should be certain that they have identified some failure of the market or of firm reputation before deciding to strike a standard term.

B. Market Failures and Standard-form Contracts

[16.15] An imperfect market can fail to provide sufficient discipline to protect consumers. Market failures take many forms, but in the context of standard-form contracts, they distill into roughly three somewhat overlapping categories. First, because consumers incur costs in monitoring standard-form language and firm reputation, they rationally could decide that such costs outweigh the benefits, even though a failure to monitor makes them vulnerable to exploitation. Second, even if they rationally decide the benefits of reading the standard terms outweigh the costs, consumers face social pressures (often arranged by businesses) against investigating the details of the contract. Finally, consumers might not react rationally to the presence of exploitative terms in standard-form contracts. Psychological research on judgment and choice combined with descriptions of how consumers think about contracts suggest that consumers will not appreciate the dangers presented by boilerplate language. [446]

1. "Rational" Market Failures

Reading and understanding boilerplate terms is difficult and time consuming for consumers. Consumers recognize that they are unlikely to understand the lengthy and complicated legal jargon in the boilerplate. To make matters worse, consumers commonly encounter standard forms when they are in a hurry. Businesses also can create boilerplate that is difficult to read by using small print, a light font, and all-capital lettering and by burying important terms in the middle of the form.

Furthermore, consumers generally would gain little from *reading* and comprehending the boilerplate. Consumers generally understand most of the important terms (such as price and quantity of goods) and assume that the remainder of the form addresses unlikely contingencies. Consumers also recognize that even if they do understand and dislike the terms, the agent presenting the form lacks the authority to bargain over the terms. Finally, the terms included in standard-form contracts tend to be uniform within an industry, so consumers see little point in attempting to shop around.

Consumers also have good reason to believe that the standard terms are not something to worry about. Consumers recognize that boilerplate language is usually a matter of customary practice within an industry, rather than an attempt by a single business to exploit them. As such, the standard terms could reflect an industry's attempt [447] to identify the optimal allocation of contractual risks. If consumers believe that the market for a good or service is reasonably competitive, they also should trust that the terms in the boilerplate allocate risks in such a way as to minimize the overall cost of the good or service. Consumers may sign standard-form contracts without reading them carefully because they believe that most businesses are not willing to risk the cost to their reputation of using terms to exploit consumers.

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Finally, consumers might refrain from reading standard forms if they believe that courts will strike unreasonable terms. This poses a dilemma for courts: Full enforcement of boilerplate often will leave consumers justifiably unpleasantly surprised, but it will also give notice to consumers to pay more attention to boilerplate.

All of these factors create a "free-rider" problem for consumers. For any single consumer, the costs of monitoring a business's standard-form contract outweigh the benefits. At the same time, however, all consumers benefit from a sufficient number taking care to monitor businesses' practices closely enough to dissuade businesses from including exploitative terms in their standard-form contracts. Because consumers do not realize all of the benefits of their vigilance, the market likely underproduces savvy consumers.

2. Social Forces

Rational calculation alone cannot explain consumers' general failure to read standard forms. In some circumstances, the market [448] should produce a sufficient number of consumers who recognize the unlikely contingencies covered by the standard form such that businesses feel disciplined. Nevertheless, most commentators agree that only a tiny fraction of consumers read and understand boilerplate. Other factors therefore also must affect consumer behavior. Social forces induce consumers to sign standard-form contracts quickly, even when they should take the time to read and understand them. Businesses often present standard-form contracts at a moment when consumers are hurried and when stopping to read and understand the boilerplate will feel awkward or unpleasant. For example, businesses sometimes present forms to consumers when other consumers, also in a hurry, are waiting in line, such as at the car rental counter. Businesses want consumers to believe that by reading the boilerplate, they are wasting everybody's time. At the very least, the business's agent may send signals that he is in a hurry.

Consumers know that reading the boilerplate may not only waste people's time, but can appear confrontational. By stopping to read the boilerplate, a consumer signals to the agent, and any others present, that the consumer does not trust the business or its agent. Particularly after a long negotiation over other terms (such as the price of a car), the consumer often will develop a relationship with the business's agent. Consumers will feel uncomfortable suddenly indicating distrust to the reassuring agent by studying terms covering unlikely events. Finally, businesses can deliberately (or even unintentionally) reduce consumers' willingness to read the terms by the manner in which [449] they present the contract. For example, people prefer commensurate over one-sided exchanges and expect their counterparts to have the same preference. Consequently, people generally feel that if they have received a concession in a social exchange, they are obliged to follow up with one. In one systematic study of this phenomenon, psychologists found that people were twice as willing to donate two hours of their time to a charity if they had already declined to donate two hundred hours of their time to the same charity. People were more willing to donate their time because they felt badly about turning down the initial request. Businesses frequently take advantage of this technique. They offer consumers the standard-form contract only after concluding a long negotiation in which the business has made the consumer feel that she had won many concessions. Car dealers, for example, know to defer discussion of the boilerplate until after agreement to the basic terms so that the consumer believes there has been some give-and-take. In their efforts to ensure that they sell as many cars as possible, car dealerships structure their transactions so as to convince consumers that they can safely trust the salesperson and ignore the fine print in the sales contract.

Businesses' agents also can take advantage of the generally good-natured approach most people bring to any social interaction. For example, people often require little in the way of a justification for doing favors. In one study, office workers using a photocopy machine were equally willing to allow a person to interrupt their work to make copies when the interrupter said she was in a rush as when she merely said she had to make copies. People mindlessly do these little favors [450] for others in the ordinary course of social interaction, so long as the party receiving the favor offers some justification, however dubious. This tendency suggests agents often will have little difficulty extracting

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a quick signature by winking and, with some exasperation, blaming lawyers for burdening them with unnecessary paperwork.

The precise social technique that businesses rely upon to complete the transaction does not matter for this analysis. Suffice it to say that businesses can draw upon a host of social conventions and influences that lead people into quiet compliance when signing standard-form contracts. In addition, businesses inadvertently can create social pressure on consumers to sign their forms. Over time, experienced agents will discover methods of presenting standard terms that smooth the transaction and save time by discouraging consumers from reading their forms.

3. Cognitive Factors

In addition to the rational and social factors in the environment of form contracting that dissuade consumers from reading standard forms, consumers also rely on decision making strategies about contractual risks that keep them from reading the boilerplate. Consumers have limited cognitive resources with which to assess the risks associated with a contract. Consequently, they rely on mental shortcuts or rules of thumb to guide complex decisions about risks. [451] These rules of thumb lead people to worry too much about risks in some circumstances, and not enough about risks in others. Although excessive concern with risk could induce consumers to overcome some of the rational and social factors that discourage them from reading boilerplate, several features of the business-to-consumer standard-form contract suggest that consumers are more apt to worry too little about contractual risks.

First, psychologists long have believed that when making a decision, such as whether to enter into a contract, people rarely invest in a complete search for information, nor do they fully process the information they receive. Instead, they rely on casually acquired, partial information, sufficient to make them comfortable with their choice: a process referred to as "satisficing." Consumers engaged in a process of satisficing will stop investigating their decisions before they have all the information they need to make informed choices. Consumers are therefore unlikely even to consider whether the assessment of the remote risks described in boilerplate terms is important to their decision to enter into a contract.

Second, and related to the satisficing process, people have difficulty making decisions that require a balancing of many different factors. [452] To simplify matters, people tend to reduce their decisions to a small number of factors, even as they claim to use multiple factors. This narrow cognitive focus might be sensible, in fact. Numerous studies indicate that people who rely on simplified decision-making models also tend to make better decisions than if they used complicated models. Some scholars have argued that this tendency to simplify decision-making means that people essentially cannot evaluate the many situations covered by the terms in standard-form contracts. Instead, they focus their attention on a small number of aspects of a contract, such as price and quantity.

This narrow cognitive focus that people bring to complex decisions creates a temptation for businesses to offer enticing prices and terms concerning the negotiable portions of the form and to make up for any concessions by drafting one-sided boilerplate terms. Consumers will focus their cognitive skills on the "important" terms, such as price, but ignore the hidden costs buried in the boilerplate. Consumers also mistakenly might believe that they have digested all of the boilerplate terms.

Third, consumers who have decided to enter into a contract largely based on a few salient factors such as price and apparent quality want to believe that refraining from reading the boilerplate is reasonable. [453] Although there are few studies on consumer responses to standard-form contracts, psychologists have demonstrated that people often engage in such "motivated reasoning," meaning that they make inferences consistent with what they want to believe. People also interpret ambiguous evidence in ways that favor their beliefs and desires. Because consumers usually encounter standard terms after they have decided to purchase the good or service, they will process the terms in the boilerplate in a way that supports their desire to complete the transaction. One empirical study, for example, demonstrated that tenants tend to believe that the terms of leases they have signed are more favorable to them than is actually the case.

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Finally, although people commonly overestimate the importance of adverse risks, they underestimate adverse risks they voluntarily undertake. For example, automobile drivers overestimate their ability to avoid accidents. This over-optimism also extends to legal obligations. [454] Because consumers voluntarily enter into contracts, they will tend to believe that they can also safely discount the low-probability events covered by standard terms. People intending to purchase a product likely will overstate their own ability to assess the reputation and good faith of the person or company with whom they are interacting.

4. Summary of the Paper-World Paradigm

In the paper world of standard-form contracting, consumers consistently fail to read their standard terms. This failure undermines market pressure to provide mutually beneficial terms. Despite their institutional limitations, courts therefore have reason to police the terms of standard-form contracts to protect consumers from exploitation.

[16.20] **Note**

The references in the original article have not been reproduced.

UNFAIR CONTRACT TERMS

[16.25] Part 2-3 of the ACL provides a regime rendering void unfair contract terms in standard-form consumer contracts. The application of this regime is discussed in the next extract.

ACCC v Chrisco

[16.30] *Australian Competition and Consumer Commission v Chrisco Hampers Australia Ltd* [2015] FCA 1204; (2015) 239 FCR 33.

[FACTS: The facts are set out in the judgment of Edelman J.]

EDELMAN J:

Introduction

[35] [2] The applicant, the ACCC, claimed that Chrisco contravened the ACL in the course of Chrisco's business. Chrisco's business included supplying customers with Christmas hampers. The goods in Chrisco's hampers were usually priced above retail prices. But the customers paid Chrisco for the hampers by instalments over periods of up to a year. Chrisco said that many of its customers had told Chrisco that "they wouldn't be able to manage without our help".

[3] Chrisco's contracts with its customers contained a term (called the HeadStart term) that required the customers to allow Chrisco to continue withdrawing funds from the customer's bank account even after the customer had made full payment for the goods. The term would apply unless the customer opted out of it. The money withdrawn from the customer's bank account would be used for any future order made by the customer but the customer would not obtain any discount on a future order and if the customer did not place an order, but requested a refund of the money paid, the money would be refunded without interest.

[4] The first issue concerns whether the HeadStart term is an "unfair term" within the meaning of s 24 of the ACL. The essential issue in this case is whether the HeadStart term caused a significant imbalance in the parties' rights and obligations arising under the contract. One of Chrisco's submissions

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was that the demographic of its customers, some of whom were described as "unsophisticated", was such that it was an advantage for them to have money removed from their accounts prior to placing another order unless they elected to the contrary or sought a refund. Chrisco submitted that the removal of the money from the customers' accounts without interest, and without any discount on a prospective order, conferred a benefit on the customers. Chrisco said that the benefit was that the customers were given the ability to pay for prospective orders by smaller instalments over a longer period of time (albeit at a higher cost taking into account the time value of money). As I explain in the body of these reasons, such a "benefit" is not substantial. I consider that in all of the circumstances of the HeadStart term and Chrisco's contract the term was unfair.

…

[38] [26] It was common ground that, since January 2011, each agreement between Chrisco and a customer for the supply of a Christmas hamper was a consumer contract within the meaning of s 23(3) of the ACL and a standard form contract within the meaning of s 27 of the ACL. Chrisco's customers were all consumers.

…

Issue 1: Was the 2014 HeadStart term an "unfair term" within the meaning of s 24 of the ACL?

[31] The 2014 HeadStart term which the ACCC alleged to be unfair is set out below. It was pleaded in paragraphs 10 and 11 of the ACCC's statement of claim, and admitted to be a term by Chrisco.

[32] As to orders made from Chrisco's catalogue:

> When your 2014 […] Order is fully paid you will automatically roll into a 2015 HeadStart Plan for the following year. Your HeadStart Plan is fully refundable. You can choose not to have this option by ticking here.
>
> and
>
> How does a HeadStart Plan work? Your direct Debit payments will continue until your order is fully paid (no later than 24th October 2014). After the 24th October 2014, a HeadStart Plan will be created for you and payments will continue accordingly. A HeadStart Plan will be created for you and payments towards next year's order, while giving you time to decide exactly what products you want.
>
> We will write to you to confirm your HeadStart Plan payments prior to commencing Direct Debits.

[33] As for orders made from Chrisco's website, for the 2014 year, the website terms and conditions relevantly provided:

> When your 2014 […] Order is fully paid you will automatically roll into a 2015 HeadStart Plan for the following year. Your HeadStart Plan is fully refundable. You can choose not to have this option by ticking here.
>
> and
>
> HeadStart Plan Your direct debit payments will continue until your order is fully paid for (no later than 24th October 2014). After the 24th October 2014, a HeadStart Plan will be created for you and direct debit payments will continue accordingly. A HeadStart Plan allows you to make payments towards next year's order, while giving you time to decide exactly which products you want. We will write to you to confirm your HeadStart Plan payments prior to commencing your direct debits. Your HeadStart Plan is fully refundable at no cost to you, should you change your mind.

…

[40] [35] A separate term of the contract, which the ACCC did not allege to be unfair but which is relevant in the consideration of the terms of the contract as a whole, is the provision in the Order Confirmation. For the 2014 year, the Order Confirmation also provided in relation to a HeadStart Plan:

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> Unless you've advised us otherwise, we'll keep your payments going for any fully paid Hamper 2014 order, so that you can keep saving for next years order. Please see above for your final payment date.

[36] The Hamper 2014 Order Confirmation identified the final payment date as a date in late October 2014.

Section 24 of the ACL: the meaning of an unfair term

[37] Section 24 of the ACL provides as follows:

Meaning of unfair

(1) A term of a consumer contract is unfair if:

(a) it would cause a significant imbalance in the parties' rights and obligations arising under the contract; and

(b) it is not reasonably necessary in order to protect the legitimate interests of the party who would be advantaged by the term; and

(c) it would cause detriment (whether financial or otherwise) to a party if it were to be applied or relied on.

(2) In determining whether a term of a consumer contract is unfair under subsection (1), a court may take into account such matters as it thinks relevant, but must take into account the following:

(a) the extent to which the term is transparent;

(b) the contract as a whole.

…

[39] Section 24 of the ACL is an example of a legislative technique that was historically less familiar to the common lawyer than it was to the civilian lawyer. It is a technique which creates broad evaluative criteria to be developed incrementally. In *Plevin v Paragon Personal Finance Ltd* [2014] 1 WLR 4222, the United Kingdom Supreme Court considered a legislative provision that permitted reopening of credit transactions where the relationship between the creditor and the debtor was "unfair". Speaking of the provision, Lord Sumption in the leading judgment said, at [10], that it was not possible to state a precise or universal test for its application.

[40] As Justice Leeming has explained, open-ended statutes which turn on broadly expressed concepts "naturally and indeed necessarily attract a more purposive and less minutely textual mode of construction": M Leeming, "Equity: Ageless in the 'Age of Statutes' " (2015) 9 Journal of Equity 108 at 116. The legislative concept of "unfairness" in s 24, with elaboration through the three elements of unfairness, might be described as a guided form of open-ended legislation. In relation to the Victorian version of the same unfairness provisions as arise in this case, in *Paciocco v Australia and New Zealand Banking Group Ltd* (2015) 236 FCR 199 at [363]-[364], Allsop CJ (Besanko and Middleton JJ agreeing) emphasised the evaluative nature of the assessment of unfairness, to be carried out with a close attendance to the statutory terms. The Chief Justice also observed that "unjustness and unfairness are of a lower moral or ethical standard than unconscionability".

…

(a) Would the HeadStart term cause a significant imbalance in the parties' rights and obligations arising under the contract?

[43] [47] Both parties proceeded on the common ground that the approach to be taken to this element was the approach taken by Lord Bingham in *Director-General of Fair Trading v First National Bank plc* at [17]:

> The requirement of significant imbalance is met if a term is so weighted in favour of the supplier as to tilt the parties' rights and obligations under the contract significantly in his

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favour. This may be the granting to the supplier of a beneficial option or discretion or power, or by the imposing on the consumer of a disadvantageous burden or risk or duty.

…

[49] I proceed on the basis that Lord Bingham's definition is an appropriate meaning to be given to the notion of "significant imbalance". But the focus remains on the terms of the section. This is particularly the case in circumstances in which the UK regulations are not identical to the terms of s 24 and, as I have explained above, were not intended to be identical.

…

[44] [51] An assessment of this first element of unfairness requires consideration of the HeadStart term together with the parties' other rights and obligations arising under the contract in order to assess whether the HeadStart term causes a significant imbalance in the rights and obligations arising under the contract.

[52] The first point of note about the HeadStart term, which I consider to be a "relevant matter" under s 24(2), is that the HeadStart term is a term from which the consumer could "opt out". Although the Headstart term required the consumer to permit Chrisco to remove money from the consumer's account for an order that might never be placed, the consumer had the power to opt out of that obligation.

[53] The second point of note is that the HeadStart term gave a right to Chrisco to withdraw money from the consumer's account, after the conclusion of the consumer's order, without any substantial corresponding right to the consumer. A right is the correlative of a duty. But what duty is imposed upon Chrisco which corresponds to the consumer's duty to permit Chrisco to withdraw money from his or her account?

[54] Several possible formulations of a consumer's corresponding right can be considered.

[55] One formulation by Senior Counsel for Chrisco was that the HeadStart term gave the consumer (ts 112) "a right to place an order for delivery of a hamper of their choosing within the amount … contributed at any time up to the delivery date and they retain the option to get their money fully back if they do not place that order".

[56] But this is no right at all. A consumer had the power to place an order for a delivery of a hamper whether or not the HeadStart term applied. The consumer could place an order for an amount which would otherwise have been collected under the HeadStart term, or an amount more or less than that. I do not accept that the consumer obtained a substantial corresponding right to be repaid upon demand, prior to placing an order, without interest, and assuming the continuing solvency of Chrisco, the same sum of money that Chrisco had withdrawn earlier. As I explain below, there is also a lack of clarity about the operation of any such "right".

[57] Another attempted formulation of a right of a consumer under the HeadStart term corresponding to the obligation to have money withdrawn from the consumer's account was that the consumer had a right to place an order for a Chrisco hamper without having to pay the larger weekly or larger monthly contribution if the payments were made over a shorter period. But the "larger weekly" or "larger monthly" contribution was not a larger overall payment because the price of the hamper did not change. In fact, taking into account the time value of money, this alleged "right" is for the consumer to pay more, by making payments of the same total amount but starting at an earlier point in time.

[58] In effect, the HeadStart term involved a savings plan by which (unless they opted out or sought a refund) consumers were required to save, interest free, with Chrisco, towards the purchase of Chrisco's goods in 2015 which were generally priced above retail prices and which the consumers might not decide to purchase.

[59] At various points in oral submissions both counsel proceeded from the assumption that the consumers involved suggests that Chrisco's consumers were generally from low to middle incomes.

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The limited evidence concerning the demographic of consumers supports that as a general, although not universal, matter. There was evidence describing anecdotal information that this was Chrisco's class of consumer (TB 794). Chrisco's "Customer Guarantee" also described how "thousands of customers … tell us they wouldn't be able to manage without our help".

[60] Senior Counsel for Chrisco submitted that there was no imbalance, or no substantial imbalance, in the parties' rights because the sums of money lost as a result of the consumers' payments being interest free were likely to be small. Even if the assumption were made that the sums of money involved were likely to be small (which I do not accept, for reasons explained below at [65]-[68]), I do not accept that there would be no imbalance in the parties' rights as a result of the interest free transfer of the consumer's money to Chrisco.

[61] Chrisco's assumption of very small sums of money being lost as a result of interest free payments can be tested with an example. The example might be a consumer who orders Chrisco's Australia Zoo Family pass hamper for $185 from the 2014 Chrisco catalogue. This requires weekly payments of $3.60 rather than a lump sum payment or larger payment, before 24 October 2014, of $185 (which Chrisco's general acknowledgment in its marketing material might be an amount which is more than retail prices).

[62] The submission by Chrisco was effectively that such an "unsophisticated" consumer who did not have the "discipline" to budget to pay $185 for the purchase of the same hamper for the following Christmas, in December 2015, would benefit from Chrisco's savings plan at very little cost to the consumer. In other words, this unsophisticated consumer, who cannot budget for himself or herself to save $3.60 per week, would not suffer any significant financial disadvantage by having Chrisco withdraw that amount of money from the consumer's account on a monthly basis after 24 December 2014.

[63] In oral submissions, Senior Counsel for Chrisco accepted that a hypothetical consumer might have credit card debt which would accumulate at a greater rate due to Chrisco's withdrawals. But, he submitted, it might only be 25% of these small sums that would have been incurred as a cost (ts 114).

[64] The example given by Senior Counsel for Chrisco is based on the assumption that consumers who provide Chrisco with a direct debit authority might have a credit card debt. That is an appropriate assumption. The possibility that a consumer might have credit card debt is a matter upon which judicial notice could be taken just as easily as the judicial notice invited by Chrisco that low interest rates are paid on savings accounts. Indeed, Chrisco's own terms and conditions provided that an order can be paid by credit card and that "Credit Cards will be debited on the 15th of every month". Although the ACCC's case focused only upon the direct debit payments rather than the credit card payments by consumers, Chrisco's intention to debit credit cards as well as savings accounts provides a further basis for the inference that Chrisco's customers might have credit card debt.

[65] It takes only a little reflection, and a calculator, to see that in the hypothetical example above the Chrisco withdrawals could cost this hypothetical consumer up to $25 in interest. This calculation is made using only monthly compounding. In other words, in the hypothetical example, the "unsophisticated" consumer who did not have the "discipline" to budget $3.60 a week, could incur an additional cost of $25 on a $185 purchase. Although this is only a hypothetical example, and might be the outer limit of cost to the consumer, it [46] illustrates that the sums of money involved due to the interest free nature of a consumer's payments over periods of up to 11 months is not necessarily a small amount in relation to the hamper purchase.

[66] In any event, I do not accept the assumption by Chrisco that only small sums of money were involved in the expenditure on Christmas hampers.

[67] First, although Senior Counsel submitted that the average hamper cost was between $80 and $750, there were certainly hampers that cost more than $750. For instance, at p 34 there was a "Mega Christmas" hamper for $962. At p 40 there was a large foldout of a "Summer holiday" hamper for $2,249. There was no evidence concerning the average size of an order.

ACCC v Chrisco cont.

[68] Secondly, the assumption that orders would be in the lower end of a range of $80 to $750 is based upon the premise that consumers would order only one hamper. But the order form permitted a consumer to order multiple hampers. Indeed, the considerable number of boxes to complete on the order form for different hampers (see instruction number 5), and the provision for a "quantity" of each different hamper, suggests that an order of more than one hamper might not have been unusual. Gift hampers could also be ordered for other people.

[69] Ultimately, it suffices to say that the sums of money lost by Chrisco's withdrawals from the consumer's account, without any obligation upon Chrisco to pay interest and with no discount for the consumer who subsequently chose to place an order, involved a significant detriment to the consumer. That detriment was not balanced by any substantial corresponding right that the consumer obtained against Chrisco.

[70] By itself, it is not necessarily determinative that there is no substantial right to a consumer, or duty upon Chrisco, that corresponds with the consumer's obligations under the HeadStart term. The evaluative exercise involves consideration of the contract as a whole to determine whether there is a significant imbalance in the parties' rights and obligations arising under the contract. I have mentioned the particular importance of the provision which permits the consumer to opt out of the HeadStart term. The evaluative exercise also requires consideration of the extent to which the HeadStart term was transparent.

[71] I turn to a consideration of the extent to which the HeadStart term was transparent and the terms of the contract as a whole.

[72] The Explanatory Memorandum to the Trade Practices Amendment (Australian Consumer Law) Bill (No 2) at [5.38] described a lack of transparency in the terms of a consumer contract as a matter that may be "a strong indication of the existence of a significant imbalance in the rights and obligations of the parties under the contract".

…

[74] It is unnecessary to decide whether a lack of transparency could itself create an imbalance which does not otherwise exist.

…

[75] The considerations relevant to assess the extent of transparency of the HeadStart term involve whether it is expressed in reasonably plain language; legible; presented clearly; and readily available to the consumer.

[76] As for catalogue orders, the location of the HeadStart term, which can be seen in Annexure 1 to these reasons, is at the bottom of the Chrisco Customer Guarantee page under the heading "How does a HeadStart Plan Work?" The Chrisco Customer Guarantee was one of only four removable pages in the middle of the Chrisco Christmas catalogue. In the catalogue, the HeadStart term was directly opposite the box to be ticked by a consumer to opt out of the HeadStart Plan. That box was at the bottom of the Hamper Order Form, next to the column for the total price (which the consumer would need to calculate) and above the signature panel.

[77] As for website orders, the location of the HeadStart term can be seen in Annexure 2 to these reasons. Although described as the 2013 order form, the relevant year for the unfair contract terms is orders placed prior to 24 October 2014. Again, there is an "opt out" clause on the order form in a similar place to the catalogue order form and the HeadStart term is under the subheading "HeadStart Plan" in a section entitled Payments.

[78] I do not consider that the HeadStart term in the catalogue or on the website was wholly lacking in any transparency. The matters I have described above show that the term was not hidden, and that the option to opt out of the clause was in a place where it might be noticed.

ACCC v Chrisco cont.

[79] However, there are matters concerning the HeadStart term that reduce its transparency.

[80] First, the language of the HeadStart term is not plain in three respects.

[81] The first respect in which the HeadStart term is not plain is that, as the ACCC set out in its amended pleading at paragraph 13A, the HeadStart term does not clearly identify the amounts that will be direct debited by Chrisco under the HeadStart term or the means by which those amounts would be determined.

[82] The HeadStart term provides that payments to Chrisco from the consumer's account will "continue accordingly". It is the taking of these payments without any corresponding right that the ACCC alleges caused the significant imbalance between the rights of the consumer and the rights of Chrisco. But what are the payments that will be taken? The HeadStart term contains no information on this point. The direct debit request to be completed by the consumer does not resolve this lack of transparency because it does not provide for any particular amount to be debited. It provides only that Chrisco "will give notice to the Customer if it proposes to vary any of the direct debit arrangements".

[83] The lack of transparency on this point might have been easily resolved by reference to the contract as a whole if the amount to be withdrawn from the consumer's account is clearly provided elsewhere in a contemporaneous document. But, prior to the "Order Confirmation" (which is part of the contract although it is not expressed in that way), it was not clear what the amount would be that would be withdrawn from the consumer's account to "continue" the payments. For the notion of "continuing" payments to be transparent the consumer must be able to know what payment was being "continued". [48]

…

[86] The second respect in which the HeadStart term is not plain is closely related to the first. It concerns the sentence in the catalogue and website terms and conditions which provided "We will write to you to confirm your HeadStart Plan payments prior to commencing Direct Debits". It would not be plain to a consumer whether this was an indication that Chrisco would write to confirm whether the consumer intended to proceed with a scheme of having his or her account debited before an order was placed or whether it was an indication that Chrisco would write to confirm the amount of the payments that it would take.

[87] The Order Confirmation, when it was subsequently received, would have revealed to any consumer that it was the latter. Only at this time would any doubts be removed concerning the precise amount of payments for the consumer who had not opted out of the HeadStart Plan. But, at this later time, the consumer would also discover that the "confirmation" was effectively a formal notice rather than a request by Chrisco to withdraw the money from the consumer's account.

[88] The third respect in which HeadStart term was not plain was that, as the ACCC pleaded, it did not explain to the consumer "the means by which the consumer could cancel the HeadStart Plan" and obtain a refund. Numerous uncertainties might arise:

(1) Could the consumer cancel the HeadStart Plan at any time prior to the final order date in October the following year?

(2) What would happen if the consumer did not do so? …

(3) Would direct debit payments continue even if the payments for the previous year's hamper had been made over a short period (say, from August 2014) so that the total amount of the 2014 total payment had already been collected by January 2015?

(4) In (3), if Chrisco assumed that the consumer intended to order a larger hamper and continued the direct debits then how long would those direct debits continue?

(5) Could Chrisco, as the ACCC asserted, "charge the consumer termination charges in the event he or she cancels the HeadStart Plan after [49] it has been converted to a new order without the benefit of having a 21 days Cooling off period"? If so, could the same termination charges

ACCC v Chrisco cont.

apply where Chrisco "auto-converts" the HeadStart Plan into an order by the consumer for similar goods as the consumer had ordered the previous year?

[89] Secondly, the HeadStart term could have been presented in a manner which was far more legible, much clearer, and more readily available to the consumer. The font size of the HeadStart term was very small. It was less than half of the size of the main heading "About your payments". There was nothing about this term that drew it to the consumer's attention beyond any of the 20 other paragraphs on the same page.

[90] In comparison, in the catalogue order form and "Customer Guarantee", Chrisco employed various techniques to bring other matters specifically to the attention of the consumer. For instance, a bright red colour was used to the statement "Add up total order value". Blue italics, and a larger font, was used for the request "Please provide at least two forms of contact details". And a box in white starkly against a yellow background, and bold font, was used for statements like "We guarantee our products are good quality". The HeadStart term, which permits money to be withdrawn from the consumer's account, without interest, and before any order is placed, is in the same font as every other term on the densely packed page of small print terms and conditions.

[91] Another difficulty with the legibility, clarity and availability of the HeadStart term is that although the HeadStart term and the opt-out provision were opposite each other in the four pages of the catalogue there was no reference in either to the other. The opt-out box to be ticked did not refer to the HeadStart term on the previous page nor did it explain what was involved in the HeadStart Plan. And the HeadStart term on the previous page did not refer to the possibility of opting out.

[92] A further difficulty with the legibility, clarity and availability of the HeadStart term is that the provision that the "HeadStart Plan is fully refundable" is not contained in the terms and conditions in the catalogue at all. Instead, this term is contained in the opt-out box on the form which would be sent to Chrisco. Unless the consumer made a copy of the order form, the consumer who consulted the terms and conditions would not be aware that the HeadStart Plan is fully refundable. Although the ACCC did not allege that Chrisco had breached s 97(1)(b) by failing to ensure that "a copy of the agreement is given to the consumer to whom the goods are, or are to be, supplied", s 97(1)(b) emphasises the lack of transparency that arises due to the absence of this term being in the possession of the consumer who orders by catalogue.

…

[50] [95] I have focused above upon the considerations particular to the HeadStart term as pleaded. This was the primary focus of the parties in submissions. The evaluative exercise, however, requires the HeadStart term to be considered in the context of the contract as a whole in order to determine whether it would cause a significant imbalance in the parties' rights and obligations arising under the contract. I take into account that both the HeadStart term and the contract as a whole were designed to be convenient to the consumer. In many respects a consumer who entered into the contract with Chrisco may have sought this convenience, particularly given Chrisco's acknowledgment that the prices were generally more than retail prices. This convenience also included the lack of a charge for the collection of instalment payments and the lack of any separate packing, administration, or delivery (other than to remote areas or for oversized or overweight items) charge for items that could be selected for inclusion in a Christmas Hamper.

[96] I also take into account that the HeadStart term is neither listed as an example of an unfair term in s 25 nor does it fall into any of the categories of potential unfair terms described in s 25. But neither those terms, nor those categories, are exhaustive.

[97] Overall, for the reasons I have expressed, and as an evaluative assessment of all the circumstances relevant to the HeadStart term including its transparency and the contract as a whole, the HeadStart term caused a significant imbalance in the parties' rights and obligations arising under the contract.

ACCC v Chrisco cont.

(b) Was the HeadStart term not reasonably necessary in order to protect the legitimate interests of Chrisco as a party advantaged by it

[98] There is a rebuttable presumption in s 24(4) that a term of a consumer contract is presumed not to be reasonably necessary in order to protect the legitimate interests of the party who would be advantaged by the term. Chrisco made no submission to suggest that the term was reasonably necessary to protect its legitimate interests. This requirement of an unfair term was satisfied.

(c) Would the HeadStart term cause detriment to a party if it were to be applied or relied on?

[99] Counsel for the parties made few submissions concerning this requirement of an unfair term. They assumed, correctly, that in the circumstances of this case, considerations of detriment were also an important part of the consideration of whether the HeadStart term caused a significant imbalance in the parties' rights and obligations arising under the contract.

[100] As I have explained above at [60]-[68], the primary manner in which the HeadStart term would cause detriment to a consumer if it were to be applied or relied on is that it would impose a significant financial detriment upon the consumer without any significant corresponding benefit. This conclusion is also fortified by the considerations concerning transparency discussed above at [72]-[92]. [51]

Conclusion

[101] The first issue concerned those consumers who placed orders, either by Chrisco's Christmas hamper catalogue or online, for delivery of hampers in the November to December 2014 period. I am satisfied that the HeadStart term in those contracts was an unfair term. Since it was common ground that (i) the contracts between Chrisco and its customers were consumer contracts and (ii) the contracts were standard form contracts, the effect of s 23(1) is that the HeadStart term was void for customers placing orders in the November to December 2014 period online or by the catalogue order form.

Orders accordingly.

CHAPTER ***17***

Consumer guarantees

[17.05] The *Australian Consumer Law*, Pt 3-2 provides mandatory standards of quality in the supply of goods and services to consumers.

The Australian Competition and Consumer Commission (ACCC), Australian Securities and Investments Commission (ASIC) and State and Territory consumer protection agencies have produced guidance on the consumer guarantees for business, legal advisors and consumer representatives to provide more detailed guidance about the consumer guarantees. A copy of this document can be downloaded from https://www.accc.gov.au/business/treating-customers-fairly/consumers-rights-obligations and https://www.accc.gov.au/publications/consumer-guarantees-a-guide-for-consumers or http://www.consumerlaw.gov.au.

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PART VIII

CHAPTER ***18***

Performance and breach

[18.05] Parties making a contract aim for it to be performed according to its terms. Typically this is what will occur. The cases in this book largely concern the relatively small proportion of transactions in which there is a dispute over performance. Often the parties will be arguing over whether the contract was performed in accordance with its terms. One party (the *aggrieved party*) will argue that the other party has breached the contract, either through a failure to perform at all or through performance which is in some way inadequate, defective or untimely. The party alleged to have breached the contract may then respond that the contract did not require him or her to do what the aggrieved party alleged. Resolving this issue depends primarily on identifying and construing the terms of the contract, as discussed in Chapters 12–15. Alternatively, the party alleged to be in breach may argue that there was some excuse for his or her failure to perform; for example, that that the contract was not properly formed (see Chapters 3–8), that the contract was frustrated (see Chapter 15) or that the enforceability of the contract is affected by misinformation (Chapters 32 and 33), an abuse of power (Chapters 34–38) or illegality (see Chapters 40–42).

Once a breach of contract is established, the aggrieved party has a right to damages to compensate for any loss caused by the breach. If the contract has been fully performed, this may be a sufficient remedy. If the contract has been only been partially performed, there are more options potentially available to the aggrieved party. He or she may want to proceed with performance of the contract in addition to claiming damages for any loss caused by the breach. If the party in breach is also willing to continue with the contract, there is no reason why performance cannot proceed. If the party in breach does not wish to perform, then, in some cases, the aggrieved party might be able to obtain an order for specific performance compelling performance of the contract (see Chapter 30). Alternatively, and in addition to claiming damages, the aggrieved party might want to terminate the contract, perhaps because he or she no longer trusts the other party to do what is expected under the contract. It is important to bear in mind that not all breaches give rise to a right to terminate a contract. The right to terminate, for breach and otherwise, is discussed in Chapters 19–25. The right to terminate a contract may, in some circumstances, be lost. These circumstances and other restrictions on the right to terminate are discussed in Chapter 25.

TERMINATION

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CHAPTER ***19***

Termination by agreement

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[19.05] A contract may be brought to an end by operation of law as in the case of frustration (see Chapter 15) or by the election of one of the parties following certain types of breach (see Chapter 21). The parties may also themselves agree to terminate their contract.

CATEGORIES OF AGREEMENTS TO TERMINATE A CONTRACT

[19.10] There are essentially two ways in which a contract may be terminated by the agreement of the parties. These are:

1. termination according to the terms of the contract to be terminated; or
2. termination by a separate and subsequent contract between the parties.

In either case, the rights to terminate may be express or implied.

TERMINATION UNDER THE ORIGINAL CONTRACT

Express powers to terminate

[19.15] Particularly in long-term commercial contracts, parties will usually include an express term providing when or how their contract may be brought to an end. Often the parties will also specify a procedure to be followed before the contract can be terminated, for example, requiring notice of the decision to terminate.

Implied right to terminate a contract of otherwise indefinite duration

[19.20] Where a contract is silent as to its duration, courts may be prepared to imply a right for one or both of the parties to terminate that contract. The considerations relevant in implying such a right and whether the party terminating should be required to give reasonable notice of termination to the other party are considered in *Crawford Fitting Co v Sydney Valve & Fitting Pty Ltd* (1988) 14 NSWLR 438.

Crawford Fitting v Sydney Valve & Fittings

[19.25] *Crawford Fitting Co v Sydney Valve & Fittings Pty Ltd* (1988) 14 NSWLR 438 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Rogers J.

[FACTS: In 1969, Crawford, the *appellants*, an Ohio-based corporation and manufacturer of specialised valves and fittings used in controlling high-pressure gas and liquids, appointed Sydney Valve, the *distributor*, as the exclusive distributor of its products in New South Wales. The distributor agreed not to deal in any other products. In 1984, the appellants gave the distributor six months' notice of termination of the agreement. Rogers J held that the "reasonable period of notice should have been two years". The appellants appealed.]

PRIESTLEY JA: [440] As I agree generally with what McHugh JA has written, I will not go over the ground he has covered. The question in the case seems to me to be one of fact, to be decided in the light of the considerations discussed by McHugh JA, and one which this Court is in as good a position to decide as the trial judge.

Amongst the various factors which have weighed with me in reaching the conclusion that six months notice of termination were not breaches of contract in the circumstances of the case, there are two in regard to which I wish to add to what McHugh JA said. The first of these is that once notices of termination were given, one of three possibilities had to come to pass for each distributor: either (i) to leave the particular field of activity, by going out of business altogether, or going into a different field, or (ii) to continue in business partly in the same field and partly in another or others, or (iii) to remain substantially in the same field in direct competition with either the appellants or their products. The third of these would present particular problems for both parties; … Each party to the contract would have conflicts of interest during the notice period which were not present before the notice was given. The same observation would apply, to a lesser extent to the second possibility. In each situation, it seems to me, the shorter the [441] period of notice, within the limits of reasonableness, the better. Similarly if the first possibility is taken into account against the factual circumstances described by McHugh JA.

The second factor is related to the feeling that first acquaintance with the facts of the case caused in me, that there was, somehow, something unfair in the way the distributors had been treated by the appellants. On trying to pinpoint the reason for this reaction, I concluded that it stemmed from the fact that the contracts were terminated, rather than that the length of notice of termination was unreasonable. It was only the latter point that was in issue in this court. It was assumed in argument that the contracts could be terminated on reasonable notice, and (silently) involved in this assumption was that the (implied) term concerning termination did not provide for any payment of compensation for loss of a long standing arrangement valuable to each distributor. In the absence of any such provision the value of the arrangement to each distributor was contingent only, and lasted only so long as due notice of termination was not given ….

McHUGH JA: [443]

The principles applicable

[19.30] When the question arises whether a commercial agreement for an indefinite period may be terminated, the answer depends upon whether the agreement contains an implied term to that effect. The existence of the term is a matter of construction. But the question of construction does not depend only upon a textual examination of the words or writings of the parties. It also involves consideration of the subject matter of the agreement, the circumstances in which it was made, and the provisions to which the parties have or have not agreed.

In *Llanelly Railway & Dock Co v London and North Western Railway Co* (1875) LR 7 HL 550 Lord Selborne declared (at 567):

> an agreement de futuro, extending over a tract of time which, on the face of the instrument, is indefinite and unlimited, must (in general) throw upon anyone alleging that it is not perpetual, the burden of proving that allegation, either from the nature of the subject, or from some rule of law applicable thereto.

Crawford Fitting v Sydney Valve & Fittings cont.

In *Llanelly* the House of Lords held that an agreement by which a railway company was given running powers over another company's lines was a permanent and not a terminable agreement. However, with the exception of Lord Selborne, the judgments of the other members of the House were based on the terms of the agreement and not upon any general principle of construction …

Although even in the second half of this century the law has been stated to be in accordance with the speech of Lord Selborne in *Llanelly* … the weight of 20th century authority makes it difficult to hold that there is any presumption of perpetuity in the case of commercial agreements …

In *Martin-Baker Aircraft Co Ltd v Canadian Flight Equipment Ltd* [1955] 2 QB 556, McNair J said (at 577) that there is no presumption of permanency in the case of an indefinite commercial agreement but that if there is it is in favour of termination and not perpetuity.

Mr Justice Buckley has also expressed the view that there is no presumption either way: *Re Spenborough Urban District* [444] *Council's Agreement* [1968] Ch 139 at 150. To the same effect is the judgment of Lockhart J in *State Bank v Commonwealth Savings Bank* (1985) 60 ALR 73 at 101. However, it is not easy to reconcile these statements with the principle that there is a general presumption against adding to a contract a term which the parties have not expressed … In principle, the better view would seem to be that, although there is a presumption against implying a term that an agreement is terminable, ordinarily the nature of a commercial agreement will lead to the conclusion that the parties must have intended it to be terminable on notice. This was the effect of the approach of the courts in *Winter Garden Theatre (London) Ltd v Millennium Productions Ltd* [1948] AC 173, Martin-Baker, Spenborough …

Whether a contract is terminable on reasonable notice instead of at will also depends upon the existence of an implied term … That question is determined by the circumstances existing at the date of the contract … However, the reasonableness of the period of notice depends upon the circumstances existing when the notice is given … When a contract is terminable on reasonable notice, the period of notice must be sufficiently long to enable the recipient to deploy his labour and equipment in alternative employment, to carry out his commitments, to bring current negotiations to fruition and to wind up the association in a businesslike manner: *Winter Garden* at 200-1; *Australian Blue Metal Ltd v Hughes* [1963] AC 74 at 99; *Witt (WA) Pty Ltd v Metters Ltd* [1967] WAR 15 at 24-5. But in the latter case Hale J denied (at 23) that it is relevant to the reasonableness of the period of notice that the recipient needs time to recoup any expenditure incurred. The appellants asserted that the decision in *Witt (WA) Pty Ltd v Metters Ltd* and the decision of the Judicial Committee in *Australian Blue Metal Ltd v Hughes* supported their claim that the reasonableness of a notice period does not take account of the expenditure outlaid by the recipient of the notice or his efforts in creating the conditions which will enable profits to be earned in the future. The appellants contended that these matters are only relevant in determining whether the agreement has existed for a reasonable period … In *Witt* an agent expended time and money in developing overseas markets and securing orders. After the relationship of the parties had been in existence for almost two and a half years, the manufacturer gave less than four months' notice of termination. The agent claimed that it should have 12 months' notice because another year was needed to recoup its expenditure. Hale J said (at 23) that an implied term requiring reasonable notice of termination should be capable of implementation in a reasonably practicable manner and that the task would be difficult and virtually impossible if the manufacturer needed to form an [445] opinion "based on the profit which the plaintiff might be expected to make in the future". He rejected the agent's contention.

In *Australian Blue Metal Ltd v Hughes*, the parties entered into a written agreement which gave the "right to mine for magnesite" in return for a royalty. The Judicial Committee held that the agreement was terminable at will with a period of grace to remove any mineral already mined. However, Lord Devlin, in tendering the advice of the Judicial Committee, said that it would not have made any difference to the result of the appeal if the agreement was terminable only on reasonable notice. He said (at 99):

Crawford Fitting v Sydney Valve & Fittings cont.

> The implication of reasonable notice is intended to serve only the common purpose of the parties. Whether there need be any notice at all, and, if so, the common purpose for which it is required, are matters to be determined as at the date of the contract; the reasonable time for the fulfilment of the purpose is a matter to be determined as at the date of the notice. The common purpose is frequently derived from the desire that both parties may be expected to have to cushion themselves against sudden change, giving themselves time to make alternative arrangements of a sort similar to those which are being terminated.

Lord Devlin said that there was no evidence from which it could be inferred that a factor operating in the minds of the parties at the time when the contract was made was that it should not be terminated abruptly just "when their operations were moving out of an unprofitable phase into a profitable one." He also said that there was insufficient evidence of any heavy initial expenditure which could only be recouped in time. Accordingly, Lord Devlin said (at 99) that the Judicial Committee could not "infer as the common purpose of any requirement of reasonable notice anything more than the ordinary purpose — time on the one hand for the appellants to deploy their labour and equipment profitably elsewhere and, on the other hand, for the respondents to find another licensee".

Although the Judicial Committee's references to the common purpose being in existence at the time of the contract and to the lack of evidence of any heavy "initial" expenditure are consistent with the appellant's contentions in this case, they do not really assist it. The notice in *Hughes* was given within ten weeks of entering into the agreement. The reference to initial heavy expenditure, therefore, does not have the significance which in another context it might have had. Moreover, the common purposes, which give rise to a requirement of reasonable notice, are not necessarily the same for a distributorship agreement, for example, as they are for the type of agreement considered in *Australian Blue Metal Ltd v Hughes*. It will often be a common purpose of a distributorship agreement that the relationship of the parties will continue for long enough after the giving of a notice of termination to enable the distributor to recoup any extraordinary expenditure or effort. Otherwise a distributor would have no incentive to make or outlay additional effort or expenditure for the mutual benefit of the parties. Inability to reap the benefits of ordinary expenditure or effort incurred during the course of the agreement may be regarded as a business risk which a distributor takes when he enters into an agreement terminable at any time. If the nature of the business produces a lapse of time between effort or expenditure and earning, a certain amount of such effort or expenditure [446] will go unrewarded whatever period of notice is given. But extraordinary effort or expenditure by the distributor incurred with the actual or tacit authority of his principal is in a different category. An appropriate period of notice can give the distributor the opportunity to exploit any extraordinary effort or expenditure. In principle, therefore, it is difficult to see why extraordinary effort and expenditure is not relevant to the reasonableness of the notice period even though the agreement has been in existence for more than a reasonable period.

In *Martin-Baker Aircraft Co Ltd v Canadian Flight Equipment Ltd*, McNair J, in holding that there was an implied term that the agreement was terminable on reasonable notice, took into account (at 580) that the agent was unlikely to expend money without security. In determining the reasonableness of the notice, his Lordship took into account (at 581) the outlay of capital expenditure. In *Decro-Wall International SA v Practitioners in Marketing Ltd* [1971] 1 WLR 361 … in holding that 12 months was a reasonable period of notice their Lordships took into account that the parties had in mind that promotional efforts were needed and that the real reward would come in the future …

The appellants asserted that in both these cases the recipient of the notice had not had a sufficient opportunity to obtain its reward for expenditure and effort incurred and that they were to be explained by the necessity for the contract to continue for a reasonable period of time. That was not the way, however, that the judges who heard the cases decided them. The appellants also relied on the approach in the United States where the courts distinguish between the reasonable duration of a contract and the reasonable notice necessary to terminate it …

Crawford Fitting v Sydney Valve & Fittings cont.

In *McGinnis Piano & Organ Co v Yamaha International Corp* 480 F 2d 474 (1973) the Court of Appeals for the Eighth Circuit said (at 479):

> We understand the rule in Minnesota to be that franchise agreements which do not contain provisions for duration or termination are ordinarily terminable by either party at will upon reasonable notice [447] to the other. Reasonable notice is that period of time necessary to close out the franchise and minimise losses. We further understand Minnesota law to permit a reasonable duration to be implied in franchise agreements where a dealer has made substantial investments in reliance on the agreement. Reasonableness in such situations is measured by the length of time reasonably necessary for a dealer to recoup its investment. A reasonable notice period prior to termination is also required ….

Although *Witt* and *Decro-Wall* seem to proceed on a contrary hypothesis, I think that a contract for an indefinite period will sometimes contain an implied term that it will continue for a reasonable period. The approach in the United States authorities is in my opinion conceptually correct. That approach receives some support from the judgment of Dixon J in *Reid v Moreland* (1946) 73 CLR 1 where the High Court had to consider an agreement which gave a right to cut timber in return for royalty payments. After holding that the right was exclusive but not interminable, Dixon J said (at 13) that he thought "that the common implication would be made restricting the exercise of the right to a reasonable time. In other words, it should be understood as a right within a reasonable time to cut and remove the timber on the land." This proposition concerned a case where the licensee was claiming that his right to exploit property was permanent. By a parity of reasoning a contract which is not determinable by will and which has no fixed duration should continue by common implication for a reasonable period.

The implication of a term that a distributorship or agency should continue for a reasonable period gives effect to the reasonable expectations of the parties. The distributor is frequently obliged to invest his own or borrowed money in the establishment or development of the business, in purchasing stock and plant, and in employing workers. He has no hope of recouping his initial expenditure or effort if the manufacturer can terminate the agreement at will or by a period of notice sufficient only to enable the distributor to deploy his labour and equipment elsewhere …

Accordingly, if a person in the initial stages of a business arrangement expends money or effort in developing the business, it provides a ground for implying a term that the business is to continue for a reasonable period. If, for example, in addition to agreeing to sell a product, a distributor furnishes additional consideration by setting up or developing a distribution system at his own expense, there will usually be an implied term that the distributorship will continue for a reasonable period: *Jack's Cookie Co v Brooks* 227 F 2d 935 at 938-9 (1955). There will be a base for such an implication even where the initial effort or expenditure is of a kind that will recur throughout the agreement. For it is not to be presumed that the parties intended that the agreement could be put to an end before the person incurring the expenditure [448] or effort has had an opportunity to recoup his initial expenditure or effort …

In this class of case, no question of notice arises until the contract has existed for a reasonable period. Despite their reasoning, cases such as *Decro-Wall* should be regarded as falling under the category of agreements which must exist for a reasonable period before any notice can be given.

However, the relevance of expenditure of money or effort cannot be confined to cases where the expenditure or effort occurs in the initial stages of the contract. If, during the contract, a party, acting within the scope of the agreement, engages in extraordinary expenditure or effort, that factor must be taken into account in determining the reasonableness of any notice given … In so far as *Witt (WA) Pty Ltd v Metters Ltd* suggests the contrary, in my opinion it is erroneous. On the other hand, recurrent expenditure or effort not being of an extraordinary nature would not seem relevant to the reasonableness of the notice period. The expenditure of money or effort is simply part of the ordinary cost of doing business. Once the business has existed for a reasonable period, the inability to profit from such work or expenditure is part of the business risk the agent or distributor takes in entering into an agreement which is terminable at any time. Further, the prospect of obtaining profits in the

Crawford Fitting v Sydney Valve & Fittings cont.

future is not a relevant factor to be taken into account except so far as it is consequential upon the incurring of extraordinary expenditure or effort within the scope of the agreement.

The chief purpose of a notice for a reasonable period, therefore, is to enable the parties to bring to an end in an orderly way a relationship which, ex hypothesi, has existed for a reasonable period so that they will have a reasonable opportunity to enter into alternative arrangements and to wind up matters which arise out of their relationship. Matters to be wound up will include carrying out existing commitments, bringing current negotiations to fruition, and, where appropriate, obtaining the fruits of any extraordinary expenditure or effort carried out within the scope of the agreement. The line between ordinary recurrent expenditure and effort and extraordinary expenditure and effort will not always be easy to draw …

In the present case, the appellants claimed that the agreement had existed for a reasonable period. But they did not dispute that the agreement was terminable only for cause or by giving reasonable notice. However, they contended that the distributors had failed to prove that six months was not a reasonable period of notice …

[453] Although the matter is near the borderline, I have come to the conclusion that on the evidence the distributors have failed to prove that the notice given by Crawford was unreasonable … On balance, I do not think that they have shown that, if they had had two years' notice or even 12 months' notice, they would have been in a better position "to make alternative arrangements of a sort similar to those" which were terminated than they were with six months' notice.

Accordingly, I have come to the conclusion that his Honour's answer to the preliminary question should be set aside …

[CLARKE JA dissented.]

Appeal allowed.

TERMINATION BY SUBSEQUENT AGREEMENT

Express agreements

[19.35] Parties may make a subsequent agreement to terminate their contract. To be binding in law, an agreement to terminate an existing agreement must comply with the ordinary rules of contract formation, including the requirement of consideration (see Chapter 4). Where both parties still have obligations to perform under the contract, each party will provide consideration in agreeing to release the other party from her or his remaining obligations: see *Paal Wilson & Co A/S v Partenreederei Hannah Blumenthal* [1983] 1 AC 854, 915–6. The need for consideration requires a distinction to be drawn between contracts that remain at least partly unperformed on each side (*executory* contracts) and contracts that have been fully performed by one party.

Executory contracts may be discharged by mutual agreement. No particular form is necessary, and the consideration for each party's abandonment of her or his rights is the contemporaneous abandonment by the other party of her or his rights. By contrast, in the case of a contract that has been fully performed by one party, the party who has not performed cannot provide consideration by agreeing to release the performing party from his or her obligations. To discharge such a contract, parties must rely on a deed or may make use of an agreement known as an "accord and satisfaction".

Accord and satisfaction

[19.40] Accord and satisfaction is the purchase of a release from an obligation, whether arising under contract or tort, by means of any valuable consideration, not being the actual performance of the obligation itself. The accord is the agreement by which the obligation is discharged. The satisfaction is the consideration which makes the agreement operative: *British Russian Gazette & Trade Outlook Ltd v Associated Newspapers Ltd* [1933] 2 KB 616, 643 per Scrutton LJ. The operation of an accord and satisfaction is discussed in *McDermott v Black* (1940) 63 CLR 161, which concerns the use of an accord and satisfaction to obtain a release from liability in tort.

McDermott v Black

[19.45] *McDermott v Black* (1940) 63 CLR 161 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: Black, the purchaser, alleged that he was induced by fraudulent misrepresentations made by McDermott, the vendor, to enter into a contract of sale of shares and that he deposited certain bonds with McDermott to secure payment of the deposit. Prior to the date of completion, Black complained, by letter, of the misrepresentations, but in a later letter, he withdrew all allegations imputing anything improper to McDermott, conditional on McDermott granting him an extension of time to complete the contract. This extension of time was granted, but Black refused to complete on the extended date, whereupon McDermott rescinded the contract. Black then sued the vendor for damages for deceit, relying on the misrepresentations that he had withdrawn.]

DIXON J: [183] The question for our consideration may be divided under two legal heads.

First, did Black's agreement to withdraw the allegations of improper conduct operate to extinguish his cause of action in deceit? And secondly, if not, did it nevertheless disable him from relying in an action of deceit upon the specific misrepresentations to which his withdrawal related? That is to say, conceding that if he had been able to establish other fraudulent misrepresentations afterwards discovered, he might have maintained an action of deceit founded upon them, yet could he revive the allegations he had withdrawn and rely also on them?

An agreement not to sue upon particular allegations might give a defendant a good equitable plea, but at common law it would be necessary for him to show that it amounted to an accord and satisfaction discharging the cause of action or else that it gave rise to an estoppel.

The essence of accord and satisfaction is the acceptance by the plaintiff of something in place of his cause of action. What he takes [184] is a matter depending on his own consent or agreement. It may be a promise or contract or it may be the act or thing promised. But, whatever it is, until it is provided and accepted the cause of action remains alive and unimpaired. The accord is the agreement or consent to accept the satisfaction. Until the satisfaction is given the accord remains executory and cannot bar the claim. The distinction between an accord executory and an accord and satisfaction remains as valid and as important as ever. An accord executory neither extinguishes the old cause of action nor affords a new one. The decision of the Court of Appeal in *British Russian Gazette etc Ltd and Talbot v Associated Newspapers Ltd* [1933] 2 KB 616, though doubtless some of the reasons display less zeal for principle than for reform, does not appear to me to be inconsistent with the received doctrine that no new cause of action is given by an accord executory … The case … provides no more than a late illustration of the doctrine, finally established perhaps by *Flockton v Hall* (1849) 14 QB 380; 117 ER 150; *Hall v Flockton* (1851) 16 QB 1039; 117 ER 1179, that of accord and satisfaction there are two cases, one where the making of the agreement itself is what is stipulated for, and the other, where it is the doing of the things promised by the agreement. The distinction depends on what exactly is agreed to be taken in place of the existing cause of action or claim. An executory promise or series of promises given in consideration of the abandonment of the claim may be accepted in substitution or satisfaction of the existing liability, or, [185] on the other hand, promises may be given by the party

McDermott v Black cont.

liable that he will satisfy the claim by doing an act, making over a thing or paying an ascertained sum of money and the other party may agree to accept, not the promise, but the act, thing or money in satisfaction, of his claim. If the agreement is to accept the promise in satisfaction, the discharge of the liability is immediate; if the performance, then there is no discharge unless and until the promise is performed.

In the present case, an extension of time to 5 August 1937, is the thing promised. From the nature of the concession, the extension consisted not so much in allowing time to elapse as in the waiver de praesenti of insistence on the plaintiff's observing the time named in the contract and of the consequences of non-observance, whatever they might be. What the plaintiff sought was a concession in the nature of a variation of the contractual terms fixing the time for completion. There is little difficulty, therefore, in regarding the defendant's agreement to postpone, and not the actual lapse of time, as the thing looked for by the plaintiff. The point of difficulty in the present case appears to me to lie elsewhere. The difficulty is to be sure of an intention on the part of the plaintiff to discharge the defendant from any liability, that is, an intention to take the agreement to extend the time in replacement or satisfaction of any existing right or claim against the defendant or, at all events, of the right or claim put in suit by the present action. The "withdrawal of all allegations imputing anything improper to" the defendant conditionally upon the latter's agreeing to three weeks' further time for payment of the balance of purchase money clearly amounts to an election to affirm the contract. It does, I think, imply a promise not to revive the allegations. But it must be acknowledged that, standing alone, it would not be easy to spell out of it an intention to treat the extension as satisfying a claim. The correspondence, however, not only adverts expressly to misrepresentations, but on that ground Black threatened to sue to recover the bonds. An action for deceit is but the legal description of the remedy for misrepresentation which the respondent Black appears to have contemplated. Accordingly should it not be taken as a possible liability, among others, to which the withdrawal should be understood as putting an end? On the whole I think that this [186] question should receive an affirmative answer. The untechnical and inexact expression, "withdraw allegations", no doubt causes some difficulty. But it must be borne in mind that the purpose was to settle or compromise a very definite dispute … The withdrawal of the allegations of improper conduct meant, in my opinion, that he would make no claim based upon misrepresentation but would accept the promise of further time instead. Estoppel can, I think, be put aside. But I think that, consistently with principle, the agreement to withdraw in consideration of a grant of time can be regarded as an accord and satisfaction. I am prepared to hold that on this ground the respondent Black's cause of action is answered, founded, as it is, on the three misrepresentations withdrawn.

But I am of opinion that in any case a good equitable plea is sustained by the agreement, that is, if the legal defence were not enough. The sufficiency of the facts to provide an answer in equity is determined by somewhat different considerations.

At law, "the only case in which a covenant or promise not to sue is held to be pleadable as a bar, or to operate as a suspension, [187] and by consequence a release or extinguishment of the right of action, is where the covenant or promise not to sue is general, not to sue at any time. In such cases, in order to avoid circuity of action, the covenants may be pleaded in bar as a release … for the reason assigned, that the damages to be recovered in an action for suing contrary to the covenant would be equal to the debt … or sum to be recovered in the action agreed to be forborne: *Ford v Beech* (1848) 11 QB 852 at 871; 116 ER 693 at 700 per Parke B".

But equity did not follow the law in its refusal to give effect to the agreement of the parties. At law an accord and satisfaction was not pleaded in bar of an action upon a specialty but in equity the debt was treated as discharged, and, before the *Judicature Act*, the creditor was restrained from proceeding at law for its enforcement. In the same way a parol variation of a contract under seal obtains its effective operation from equitable doctrine: *Berry v Berry* [1929] 2 KB 316. A release, though not under seal, if given for consideration, was enforced by injunction, and so, too, was an agreement by simple contract not to sue. Accordingly they now constitute good equitable defences

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to legal demands. There is no reason to doubt that in the same way equity would give effect to a simple contract not to set up or rely upon specific allegations of fact as part of a common law cause of action or for that matter as a plea, or part of a plea, answering a cause of action. Before the *Judicature Act* the mode of relief was by injunction restraining the party from pleading the facts in his declaration or plea as the case might be and the foundation of the injunction was the promise of the party, negative in character, given for consideration. The promise, however the contract might be expressed, is in character negative, because, ex hypothesi, the stipulation to be enforced is that the party will not set up the specific allegations of fact. A negative stipulation gives the party a prima facie equity to have a violation of the contract restrained because the legal remedy by way of damages is not sufficient to protect the party and secure the interest [188] for which he bargained. But like all other titles to equitable relief the prima facie right to restrain the breach of an agreement not to sue or not to set up specified matters is subject to the well-known rules or principles upon which courts of equity act. Relief would not be granted if the agreement were unfairly obtained or oppressive. The stipulation, whether express or implied, must be sufficiently certain and not too vague and indefinite. The consideration must not be illusory or inadequate. There are two points at which these principles touch the plaintiff's agreement to withdraw the allegations of improper conduct. In the first place, though an implication against reviving the allegations appears to me quite certain, the extent and nature of the promises to be implied may be said to be too doubtful. It may be thought insufficiently clear that the parties intended to stipulate that the plaintiff should not be at liberty to include the misrepresentations referred to in an action of deceit. Conflicting views have been suggested of the nature and extent of the undertaking to withdraw the allegations of improper conduct. For instance, it has been said that it was directed only against aspersion on character, against further contumely or insult. Another view put forward was that its purpose was to destroy in advance the probative value of Black's assertions. It has also been explained on the ground that it was desired to fix Black with an affirmance as opposed to a disaffirmance of the contract. Notwithstanding these rival interpretations of the agreement to withdraw the allegations, I am of opinion that the parties should be understood as stipulating that the respondent Black would not base any cause of action upon the allegations he withdrew. But so to interpret their contract is one thing: it is another thing to say that the construction or implication is sufficiently clear and definite to form the ground of an injunction. Upon the latter question the opinion of Martin J that the language of the agreement is far too vague and the difference in the views of the withdrawal that have been put forward must shake any confidence that otherwise might be felt. But it is necessary to distinguish between the difficulties that are encountered in interpreting the meaning of the parties to a negative stipulation and the vagueness or indefiniteness of the stipulation when interpreted. In the present case I think the [189] difficulties fall under the former head rather than the latter. It appears to me that, once it is determined that the parties intended that Black should not be at liberty to revive the allegations and rely upon them in legal proceedings in support of a claim, little difficulty remains in saying that their meaning was definite enough to warrant a court of equity restraining such an action at law as the present. The other point at which the general principles of equity touch the question whether the agreement to withdraw the allegations provides an equitable defence, depends upon its fairness and justice …

In my opinion the agreement to withdraw operates to prevent the respondent Black from maintaining this action.

The appeal of McDermott should, therefore, be allowed and judgment in the action should be entered in his favour …

[STARKE and RICH JJ delivered judgments to a similar effect. McTIERNAN J agreed with Dixon J, and LATHAM CJ dissented.]

Appeal allowed.

Termination inferred from subsequent agreement

[19.50] Where parties to a contract make a subsequent contract covering similar ground to the first, an issue may arise as to whether the new contract was intended to act as a discharge and substitution for the original contract or as a mere variation of the original contract. The task is to ascertain the intention of the parties as embodied in the contracts. While each case will depend on its own circumstances, *Concut Pty Ltd v Worrell* [2000] HCA 64 illustrates some of the considerations which a court may take into account.

Concut v Worrell

[19.55] *Concut Pty Ltd v Worrell* [2000] HCA 64 (High Court of Australia) – Appeal from the Queensland Court of Appeal.

[FACTS: In 1980, Mr Wells commenced employment with Concut, the appellant, pursuant to an oral agreement. In December 1986, the appellant and Wells executed a document headed "SERVICE AGREEMENT" (the *service agreement*) which was stated to record the terms and conditions of Mr Wells' employment with Concut.

In 1988, Concut terminated the employment of Mr Wells without notice. In 1991, Mr Wells brought an action in the District Court of Queensland for damages for wrongful termination of his employment. Concut defended the claim on the ground that Mr Wells had breached his conditions of employment by alleged misconduct by the use of Concut's employees and property in the building of his house without Concut's permission. Concut had not been aware of Mr Wells' misconduct when it terminated his employment.

The trial judge held that Mr Wells' activities had amounted to significant misconduct and held that Concut had been entitled to dismiss him without notice. By majority, the Court of Appeal allowed an appeal. The Court of Appeal held that the service agreement was "a new and discrete contract of employment terminating and replacing the oral agreement" of 1980. The Court of Appeal held that there was no obligation under the service agreement for Mr Wells to disclose his prior misconduct and accordingly that there had been no breach of any term of the service agreement by Mr Wells which would entitle Concut to terminate that agreement without notice. Concut was granted leave to appeal to the High Court.]

GLEESON CJ, GAUDRON and GUMMOW JJ: [697] The issues which must be determined are to be understood in the context of the law respecting employment relationships. It would be unusual for this to be purely contractual. Statute may impose obligations to observe industrial awards and agreements: *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410; 131 ALR 422, and in some instances the relevant terms of the employment relationship may be found in the industrial award which binds the parties at the relevant time: see eg *Stratton v Illawarra County Council* [1979] 2 NSWLR 701; at 705-6. Further, as Mason J pointed out in *Hospital* [698] *Products Ltd v United States Surgical Corp* (1984) 156 CLR 41 at 96-7, the relationship between employee and employer is one of the accepted fiduciary relationships; their critical feature is that the fiduciary undertakes or agrees to act for or on behalf of, or in the interests of, another person in the exercise of a power or discretion that will affect the interests of that other person in a legal or practical sense …. In the present case, the dispute centres not upon these other aspects of the employment relationship, but upon the identification of the contractual source of the relationship over a fairly lengthy period. In our view, the majority of the Court of Appeal erred in treating the service agreement as a new and discrete contract of employment which had the effect of terminating and replacing the anterior oral agreement between Concut and Mr Wells, and this error dictated an incorrect outcome to the appeal.

The relevant principles are well settled. In *FCT v Sara Lee Household & Body Care (Aust) Pty Ltd* (2000) 74 ALJR 1094 at 1098; 172 ALR 346 at 350-1, Gleeson CJ, Gaudron, McHugh and Hayne JJ said:

> When the parties to an existing contract enter into a further contract by which they vary the original contract, then, by hypothesis, they have made two contracts. For one reason

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> or another, it may be material to determine whether the effect of the second contract is to bring an end to the first contract and replace it with the second, or whether the effect is to leave the first contract standing, subject to the alteration. For example, something may turn upon the place, or the time, or the form, of the contract, and it may therefore be necessary to decide whether the original contract subsists.

Their Honours went on ((2000) 172 ALR 346; at 351; 74 ALJR 1094 at 1098. See also: (2000) 172 ALR 346; at 360 [81]; 362 [95]; 363 [100]; 74 ALJR 1094 at 1105, 1106, 1107 per Callinan J) to refer to the judgment of Taylor J in *Tallerman & Co Pty Ltd v Nathan's Merchandise (Victoria) Pty Ltd* (1957) 98 CLR 93 at 143-4. Taylor J had rejected submissions that (a) "it is impossible by a subsequent agreement, merely, to vary or modify an existing contract" and (b) "[an] agreement which purports to vary an existing contract operates … first of all to abrogate entirely the existing contractual relationship and, then, to reinstate the terms of the old contract as varied or modified by the new agreement" (cf *Meek v Port of London Authority* [1918] 2 Ch 96). His Honour, to the contrary, accepted the propositions that (a) the earlier contract might be rescinded altogether, the determining factor being the intention of the parties disclosed by the later agreement; (b) partial rescission is a variation, not the destruction, of the contractual relationship between the parties; and (c) the earlier contract may be varied by way of (i) partial rescission with or without the substitution of new terms for those rescinded and (ii) the addition of new terms with or without any partial rescission at all ((1957) 98 CLR 93; at 144). In *Tallerman* (1957) 98 CLR 93 at 135 (see also at 122-3 per Williams J) Kitto J spoke in terms which involved [699] acceptance of propositions (a) and (b) as identified above, adding that while "in strict logic" a variation may be a new contract, "the discharge of an old contract is a matter of intention".

The decision of the majority in the Court of Appeal in the present case appears to involve the holding that there was a discharge of the prior contractual relationship between Concut and Mr Wells, that the service agreement became the exclusive charter of the contractual rights and duties of the parties, and that subsisting rights and liabilities under the prior contract, including those arising by reason of breach thereof, were compromised or released. However, the text of the service agreement itself, as well as the surrounding circumstances, indicate that such a conclusion would not be in accord with the manifest intention of the parties.

The service agreement recited that Mr Wells was an employee of Concut and manifested no intention to displace rights and liabilities which had accrued between the parties since Mr Wells had become the Queensland Branch Manager in 1980 by releasing or compromising those rights and liabilities. Rather the employment relationship continued but was supplemented by the terms of the service agreement. Clause 1 thereof specified a term of employment to continue until 30 November 1991 and for periods thereafter as provided in the clause; cl 2 fixed Mr Wells' remuneration and provided for regular salary reviews; cl 8 contained various provisions protective of the interest of Concut in what was defined as "confidential information". Clause 11 stipulated an entitlement to four weeks annual leave on full salary, but this had to be read with cl 13. This was headed "PRIOR SERVICE" and stated: "Nothing contained in this agreement shall in anyway [sic] limit or restrict the accrued rights of [Mr Wells] in respect of prior service with [Concut] to long service leave, superannuation, holiday pay and other like emoluments."

The conclusion that the employment relationship continued but was supplemented by the terms of the service agreement has several relevant consequences. One concerns the argument that the express provision made in cl 6(a) of the service agreement for dismissal without notice if at any time Mr Wells was guilty of serious misconduct had a prospective and exclusive operation. The corollary is said to be that Concut was precluded from dismissing Mr Wells during the currency of the service agreement for misconduct anterior to the date of the service agreement. However, cl 6(a) operated concurrently with terms implied by law and did not displace the consequences of anterior breach of such terms. In *Castlemaine Tooheys Ltd v Carlton & United Breweries Ltd* (1987) 10 NSWLR 468 at 487, Hope JA identified contracts between master and servant as a typical class of contract in which terms will be implied by law. Such terms apply in the absence of an expression of contrary intention by the

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parties: *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410 at 449-50. In discerning that intention, regard should be had to "the familiar principle of construction that clear words are needed to rebut the presumption that a contracting party does not intend to abandon any remedies for breach of the contract arising by operation of law": *Stocznia Gdanska SA v Latvian Shipping Co* [1998] 1 WLR 574 at 585; *Gilbert-Ash (Northern) Ltd v Modern Engineering (Bristol) Ltd* [1974] AC 689 at 717. Thus, an express provision for termination for breach in certain circumstances [700] may be regarded as designed to augment rather than to restrict or remove the rights at common law which a party otherwise would have had on breach: *Holland v Wiltshire* (1954) 90 CLR 409 at 415-16; *Taylor v Raglan Developments Pty Ltd* [1981] 2 NSWLR 117 at 135.

Paragraph (a) of cl 6 of the service agreement is a provision of this character. It specifies that certain acts or omissions are to be treated as included in the notion of "serious misconduct" for which Mr Wells might be dismissed without notice. The activities so identified are a failure to devote the whole of Mr Wells' time and attention to the business of Concut during normal business hours, absence without leave (except in the case of illness or accident), disobedience, and neglect to fulfil any of the orders or directions of the board of Concut. Paragraph (a) was expressed prospectively and augmented rather than restricted or removed rights which Concut otherwise would have in respect of a breach of any term implied by law; nor did it release or compromise such rights as Concut may have had at the time of the execution of the service agreement by reason of past misconduct of Mr Wells. In *Pearce v Foster*, Lord Esher MR stated it to be a "rule of law" that "where a person has entered into the position of servant, if he does anything incompatible with the due or faithful discharge of his duty to his master, the latter has a right to dismiss him": (1886) 17 QBD 536 at 539. See also the discussion by Viscount Simonds in *Sterling Engineering Co Ltd v Patchett* [1955] AC 534 at 543-4 and in *Lister v Romford Ice and Cold Storage Co Ltd* [1957] AC 555 at 575-6; cf *Scally v Southern Health and Social Services Board* [1992] 1 AC 294 at 306-7; *Malik v Bank of Credit and Commerce International SA (in liq)* [1998] AC 20 at 34-5, 45-6. In *Blyth Chemicals Ltd v Bushnell*, in the course of considering the position of the respondent, who was the manager of the appellant's business, Starke and Evatt JJ said ((1933) 49 CLR 66 at 72-3):

> As manager for the appellant, the respondent was in a confidential position. And it is clear that he might be dismissed without notice or compensation if he acted in a manner incompatible with the due and faithful performance of his duty, or inconsistent with the confidential relation between himself and the appellant.

In the same case, Dixon and McTiernan JJ said ((1933) 49 CLR 66 at 81):

> Conduct which in respect of important matters is incompatible with the fulfilment of an employee's duty, or involves an opposition, or conflict between his interest and his duty to his employer, or impedes the faithful performance of his obligations, or is destructive of the necessary confidence between employer and employee, is a ground of dismissal.

Contractual obligations and fiduciary duties have different conceptual origins, "the former", in the words of McLelland J (*United States Surgical Corp v Hospital Products International Pty Ltd* [1982] 2 NSWLR 766 at 799; affirmed (1984) 156 CLR 41), "representing express or implied common intentions manifested by the mutual assents of contracting parties, and the latter being descriptive of circumstances in which equity will regard conduct of a particular kind as unconscionable and consequently attracting equitable remedies". Formulations of the obligations of an employee in terms such as those in *Pearce* and *Blyth Chemicals* may be understood, Professor Finn [701] has pointed out, as the re-expression of equitable obligations in terms of implied contracts: Finn, *Fiduciary Obligations*, 1977, p 267. See also Gurry, *Breach of Confidence*, 1984, pp 177-9; Dean, *The Law of Trade Secrets*, 1990, pp 181-3. If so, the importation is well established and beneficial, and nothing turns upon it for present purposes.

The trial judge had held that Mr Wells' activities in relation to the building operations at Beaudesert had amounted to significant misconduct which was sufficient to terminate his employment. His

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Honour also held, with reference to *Shepherd v Felt and Textiles of Australia Ltd* (1931) 45 CLR 359 at 373, 377-8 that it did not matter that at the time of the dismissal Concut had not been aware of that misconduct. That misconduct nevertheless was available to Concut to resist the action for damages for wrongful dismissal instituted by Mr Wells. The majority in the Court of Appeal did not controvert those grounds upon which the case had been decided at trial. Plainly, the trial judge was correct in deciding the case in this way. However, the Court of Appeal directed its attention to the submissions for the appellant, which sought to outflank the decision of the trial judge by maintaining that Concut had not been entitled to terminate the employment of Mr Wells because breach of the earlier oral contract did not entitle Concut to terminate without compensation what was said to be the later fixed term contract.

In this court, no attempt was made, and none would have succeeded, to deny the proposition of law expressed in *Shepherd*. The proposition that the dismissal of an employee may be justified upon grounds on which the employer did not act and of which the employer was unaware when the employee was discharged is but an application of what, in *Shepherd*, Dixon J identified as a rule of general application with respect to the discharge of contract by breach: (1931) 45 CLR 359 at 377.

The submissions, accepted by the majority in the Court of Appeal, depended upon acceptance of a view of the contractual relationship between Mr Wells and Concut before and during the currency of the service agreement which, as indicated above, should not be accepted. There may conceivably have been a question whether, by reason of any release or compromise of Concut's rights arising at general law by reason of the serious breach by Mr Wells of the term implied by law into his contractual relationship, Concut had been disabled from later justifying its dismissal of Mr Wells by reliance upon the breach. However, no such release or compromise was stipulated in the service agreement and no other source for it has been suggested.

The majority in the Court of Appeal fixed their attention upon the state of affairs at the time of execution of the service agreement and emphasised that there was nothing to show that Mr Wells had deliberately withheld his prior misconduct in order to induce Concut to enter into "the new written contract of employment". The majority further stressed that the speech of Lord Atkin in *Bell v Lever Brothers Ltd* [1932] AC 161 at 227-8 was "strong authority for the proposition that there is no duty on an employee to disclose his or her own past faults".

Neither proposition is determinative of the present appeal once there is an appreciation of the duration and content of the employment relationship between the parties. In any event, *Bell v Lever Brothers Ltd* was concerned not with an [702] answer to a claim for damages for breach of contract, but with a situation where payments had been made under contracts stated to be entered into "in full satisfaction and discharge of all claims and demands" between the parties (the text of the agreements is set out in the speech of Lord Blanesburgh [1932] AC 161 at 178-9) and the party which had then made the payments sought to recover them as moneys paid under total failure of consideration. (See the judgment of Wright J, *Lever Brothers Ltd v Bell* [1931] 1 KB 557 at 567-9.) The jury had held that the contracts had not been induced by fraud ([1931] 1 KB 557 at 560-1).

In the present matter, the majority of the Court of Appeal, as did counsel for the respondent in this court, placed particular reliance upon the statement by Lord Atkin in *Bell v Lever Brothers Ltd* [1932] AC 161 at 228:

> If a man agrees to raise his butler's wages, must the butler disclose that two years ago he received a secret commission from the wine merchant; and if the master discovers it, can he, without dismissal or after the servant has left, *avoid the agreement* for the increase in salary *and recover back the extra wages paid?* If he gives his cook a month's wages in lieu of notice can he, on discovering that the cook has been pilfering the tea and sugar, claim the return of the month's wages? I think not. He takes the risk; if he wishes to protect himself he can question his servant, and will then be protected by the truth or otherwise of the answers. (emphasis added)

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However, as these remarks show, Lord Atkin was concerned with avoidance of agreements for failure to disclose past misconduct and the recovery of moneys paid thereunder. In his speech, Lord Atkin (who, with Lord Blanesburgh and Lord Thankerton, comprised the majority) had isolated "[t]wo points … for decision": [1932] AC 161 at 217. At trial, the defendants had admitted liability to account for their profits on certain private dealings in breach of duty and their payments into court on that account were accepted: [1931] 1 KB 557 at 560, 574. The first was whether the agreement with Bell negotiated by Mr Cooper was void by reason of a "mutual mistake" of Bell and Cooper, as to the "quality of the thing contracted for" ([1932] AC 161 at 218), so that, if the agreement be executed (as was the case), one party "can recover back money paid on the ground of failure of the consideration": [1932] AC 161 at 222. His Lordship decided that "the party paying for release [had gotten] exactly what [it had] bargain[ed] for", and it was not to the point that, had it known the true facts, it would not have entered into the bargain: [1932] AC 161 at 223-4. So, on this ground, Bell was able successfully to resist the claim for repayment.

With this branch of Lord Atkin's speech, which for 70 years has attracted varied academic analysis, the Court of Appeal was not concerned. The passage set out above comes from that part of Lord Atkin's speech answering favourably to Bell the second point for decision. This was whether Bell had "owed a duty to Levers to disclose his misconduct, and that in default of disclosure the contract was voidable": [1932] AC 161 at 227. [703]

In *Bank of Credit and Commerce International SA v Ali* [1999] 2 All ER 1005; at 1015, Lightman J dealt with this section of Lord Atkin's speech and said that *Bell v Lever Brothers Ltd* was authority for the following propositions:

> The current law as generally understood may be stated as follows: that (1) (subject to one exception) neither party to a contract is obliged to disclose facts material to the decision of the other party whether to enter into that contract; (2) the exception is limited to contracts which are uberrimae fidei; (3) neither contracts of employment nor contracts of compromise (unless by way of family arrangement) fall within this exceptional category; and (4) neither the employer nor the employee, once in contractual relations, are under a duty as such to disclose to each other their own breaches of contract.

Proposition (4) may require qualification to allow for obligations of disclosure which attend a fiduciary duty, if informed consent is to be obtained to what otherwise would be a breach of that duty. (Cf McCarry, "The Employee's Right to Silence" (1983) 57 *Australian Law Journal* 607; Collins, "Implied Duty to Give Information During Performance of Contracts" (1992) 55 *Modern Law Review* 556 at 559.) Further, particular problems arise respecting the contracts of compromise identified in proposition (3) by his Lordship where there is a question respecting the actual or apparent authority of counsel to enter into such a compromise. In *Harvey v Phillips* (1956) 95 CLR 235 at 243, Dixon CJ, McTiernan, Williams, Webb and Fullagar JJ said that a court did not appear to possess a discretion to rescind or set aside such a compromise and continued ((1956) 95 CLR 235; at 243-4. See also *Taylor v Johnson* (1983) 151 CLR 422 at 432:

> The question whether the compromise is to be set aside depends upon the existence of a ground which would suffice to render a simple contract void or voidable or to entitle the party to equitable relief against it, grounds for example such as illegality, misrepresentation, non-disclosure of a material fact where disclosure is required, duress, mistake, undue influence, abuse of confidence or the like.

Questions respecting non-disclosure of a material fact where disclosure is required may also arise where the complaint is one of contravention of s 52 of the *Trade Practices Act 1974* (Cth): *Demagogue Pty Ltd v Ramensky* (1992) 39 FCR 31. None of these questions arises here.

The fundamental point is that the present appeal is not concerned with any claim by Concut to avoid Mr Wells' contract for alleged failure by Mr Wells to disclose alleged misconduct during a period anterior to his appointment in 1980 as Queensland Branch Manager. Rather, the outcome of the case

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turns upon the breach of an obligation implied by law in the employment contract and the right of the employer to rely upon that breach, when subsequently discovered, in answer to a claim for damages for wrongful dismissal, although the dismissal was not based on that ground. The applicable principles are well settled and their application to the undisputed facts produces a result favourable to the employer …

McHUGH J: I agree that this appeal should be allowed …

[19.60] KIRBY J: [709] Problems of the present kind are usually resolved by the law of contract by reference to the imputed intention of the parties to the contractual relations, as expected here in the successive oral and written agreements. Of course, that "intention" is to be ascertained objectively. In a case such as the present, ordinary practical and commercial considerations militate strongly against a conclusion that the service agreement wholly discharged the former oral agreement and excused every later discovered instance of misconduct that had occurred during the currency of the employment, however serious. The service agreement simply did not deal with the problem which later arose. It would take much more explicit provisions in the service agreement to persuade me that it was intended, objectively, to deprive the employer of the remedies normal to the discovery by it of such a breach by a senior employee of one of the most basic terms ordinarily implied in an employment contract. This is particularly so given the essential character of an employment relationship recognised by the common law, which continued from the commencement of the oral contract until the employee's dismissal, regardless of the intervening execution of the service agreement …

Appeal allowed.

[19.65] **Note**

On *Bell v Lever Brothers Ltd* [1932] AC 161, discussed in the principal case, see [31.50].

Termination by abandonment

[19.70] After a period of inactivity or other conduct that indicates the parties no longer desire their contract to be on foot, the courts may treat the parties as having mutually agreed to abandon that contract. See, for example, *DTR Nominees Pty Ltd v Mona Homes Pty Ltd* (1978) 138 CLR 423, at [22.65]. The issue is also discussed in *Fitzgerald v Masters* (1956) 95 CLR 420.

Fitzgerald v Masters

[19.75] *Fitzgerald v Masters* (1956) 95 CLR 420 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: In 1927, the *respondent* made a contract in writing with the *deceased* (of whose will the *appellants* were executors) for the purchase of an interest in the deceased's farm. As from the date of the contract, the farm was to be worked, in effect, as a partnership but the actual transfer of the interest in the land was not to take place until the respondent had paid in full. By way of deposit and instalments, the respondent paid more than half the purchase price, and in 1931, he offered to pay a substantial part of the balance, but at the deceased's request, he did not do so. Meanwhile the working partnership had been observed, but in 1932, it became apparent to the parties to the contract that the farm could not support them both, and the respondent left. Between that date and

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1948, the respondent had no connection with the working of the farm, but in 1948, he began a correspondence over the contract with the deceased, which continued until the latter's death in 1951. In 1953, the respondent began a suit for specific performance against the appellants. The appellants alleged that the contract had long since been abandoned.]

DIXON CJ and FULLAGAR J: [432] There can be no doubt that, where what has been called an "inordinate" length of time has been allowed to elapse, during which neither party has attempted to perform, or called upon the other to perform, a contract made between them, it may be inferred that the contract has been abandoned. A good example is to be found in *Pearl Mill Co Ltd v Ivy Tannery Co Ltd* [1919] 1 KB 78 … What is really inferred in such a case is that the contract has been discharged by agreement, each party being entitled to assume from a long-continued ignoring of the contract on both sides that … "the matter is off altogether".

It is impossible, in our opinion, to infer a discharge of the contract in the present case. In each of the cases cited above the contract was an executory contract, under which neither party had acquired any proprietary right or interest. The position was simply that each party had promised to do something, and for a long period no act was done in performance of the contract, and no step was taken to require any act to be done in performance of the contract. Here the contract had been partly performed by the respondent. Before he left the property, he had paid more than half of the purchase price, and he had an equitable interest in the land. He had registered his contract. It is impossible to suppose, nor can the deceased have supposed, that he ever intended simply to allow the deceased to keep both the money and the land, and no suggestion that the money should be repaid to him was ever made. As Taylor J observed during argument, if he had at any time regarded the contract as at an end, the first thing one would have expected him to do [433] was to demand repayment of his money. The truth is, we think, that the equitable interest in the land, which the respondent had acquired, could not be lost or destroyed by mere inaction on his part. It could only be lost or destroyed by release or express agreement on his part, or if the deceased lawfully rescinded the contract. Any release or agreement could be expected to provide for adjustments taking into account the part of the price already paid, and, in the event of rescission by the deceased, the rules of law and equity would take care of the position …

[McTIERNAN, WEBB and TAYLOR JJ delivered a joint judgment to a substantially similar effect.]

Appeal dismissed.

CHAPTER ***20***

Failure of a contingent condition

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CONTINGENT CONDITIONS

[20.05] Parties sometimes make the performance of their contract conditional upon the occurrence, or non-occurrence, of a specified event which neither party promises to ensure will, or will not, occur. For example, a contract for the sale of land may be made subject to the purchaser obtaining finance. If the condition is not fulfilled, then the parties will be released from the obligation to perform their contract, without liability on either side. In some cases, the failure of the contingent condition will render performance impossible, unviable or irrelevant. In other cases, the failure of a contingent condition may provide a convenient opportunity for one party to escape a contract which has become unpalatable for other reasons.

DIFFERENT SENSES OF THE WORD "CONDITION"

Contingent and promissory conditions

[20.10] A contract term that makes the performance of the contract conditional on the occurrence of an event that neither party promises to ensure is sometimes described as a *contingent condition*. The word *condition* is also used to refer to a contractual promise that is *essential* in the sense that a breach of the promise by one party will entitle the other party to elect to terminate the contract and claim damages, as discussed in Chapter 21. A condition which embodies a promise is sometimes referred to as a *promissory condition*.

McTier v Haupt

[20.15] *McTier v Haupt* [1992] 1 VR 653 (Supreme Court of Victoria).

[FACTS: The McTiers, as *purchasers*, and the Haupts, as *vendors*, entered into a contract for the sale of a house, with furniture included. A deposit was paid, but before the balance was payable two people broke into the house and burnt it virtually beyond repair. The McTiers refused to proceed to completion in the ordinary way. They claimed declarations that they could refuse to complete until the property was restored, or that they could complete while reserving the right to compensation

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for breach or with an abatement of the purchase price. The contract contained the following term (GC1.2): "This sale is subject to … (the) property and chattels being delivered to the purchaser on the settlement date in their present state of repair (fair wear and tear excepted) but the failure so to deliver the chattels shall only create a right to compensation".]

BROOKING J: [657] Terminology is important for a clear understanding, and while what is important is not so much the selection of terms as consistency in their use, I prefer to distinguish between "promises" and "conditions" as the American writers do rather than distinguish, as do *Chitty on Contracts, General Principles*, 26th ed, para 795, Anson, *Law of Contract*, 25th ed, pp 131–2 and Lindgren, *Time in the Performance of Contracts*, 2nd ed, *passim*, between "promissory conditions" and "contingent conditions". Corbin would [reserve] the expression "promissory condition" for a third class of case, where there is both a condition (in the Corbin sense) and a promise that the condition shall be fulfilled: see *Corbin on Contracts*, ss 633–5 and *Williston on Contracts*, 3rd ed, ss 664–5. *Sutton & Shannon on Contracts*, 6th ed, pp 295–6, while not adopting the American terminology but instead distinguishing between "promissory conditions" and "contingent conditions", similarly accepts the possibility of this third position, where a stipulation combines the characteristics of a promissory condition and a contingent condition. (This third position must not be confused with the case where there is a promise, not that the condition shall be fulfilled, but that the promisor will make reasonable efforts to procure its fulfilment.)

Terminology in this field is, as I have said, by no means uniform, a state of affairs that is at times the cause and at times the result of misunderstanding and confusion. In *Perri v Coolangatta Investments Pty Ltd* (1982) 149 CLR 537, at 546, Gibbs CJ used the expression "promissory condition" to describe a provision which was a promise as opposed to a condition precedent to the obligation to complete a contract of sale. That decision itself is an illustration of the distinction between a condition in the sense in which the American writers use that word and a promise. I refer for example to the judgment of Brennan J, at 565, where his Honour said: "Though the stipulation specifies the event upon the occurrence of which the obligations to complete cease to be contingent, the stipulation contains no promise that the event will occur."

Similarly, at 566, his Honour observed: "This is not a case where the purchasers promise that a condition precedent to the obligation to complete will be fulfilled … where the occurrence of an event upon which the obligations to complete are contingent is not promised, the mere non-occurrence of the event is no breach of contract …" [658] Another illustration of the distinction will be found in *Hale v Finch* 104 US 261 (1881), where the bill of sale of the steamboat "New World" contained the words, "This sale is upon the express condition" that the steamboat should not run on the waters of the State of California. The Supreme Court held that there was "only an agreement that the *sale* was upon the *express condition* that neither the boat not its machinery should be so used. It is the case of a bare, naked condition, unaccompanied by words implying an agreement, engagement or promise by the vendee that he would personally perform or become personally responsible for the performance of the express condition upon which the sale was made". I turn to GC1.2. To make a sale of land "subject to" the occurrence of some event has long been a usual means of expressing a condition. This is so well known to lawyers that illustrations from the numerous reported decisions are unnecessary. The language used in GC1.2 is the language of condition, not of promise. That provision does not say "shall" or "will" or "must", either with the active or with the passive voice. It does not (although scarcely any weight can be given to this consideration) mention the vendor. The event defined – delivery of the property and chattels to the purchaser on the settlement date in their present state of repair – is one which the vendor will not necessarily be able to bring about. Whatever might be said if GC1.2 did not look to a particular point of time, no one can say that it will in all circumstances lie in the power of the vendor to ensure that the property and chattels are delivered to the purchaser on the settlement date (a term defined or explained in the particulars of sale) in the same state of repair as at the date of the contract. There might be an explosion, a conflagration, a destructive tempest or some other casualty on the eve of

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settlement against which the vendor was powerless to guard. Of course a party may bind himself by contract to do something which may lie outside his power, but the fact that the suggested promise is of this kind is material in considering whether words using the language of condition are intended to import a promise.

Lindgren, para 116, accepts that where a contract is expressed to be "subject" to the coming into existence of a factual situation by a stipulated time, the stipulation will ordinarily be found to be a contingent condition.

[659] It seems that in *James P O'Collins Pty Ltd v Esnouf* (1986) V Conv R 54-193, GC1.2 struck Ormiston J so clearly as a clause containing a contractual promise that the contrary view did not even occur to his Honour as a possibility. In view of this I have hesitated before reaching the conclusion that the contrary view is not only open but also to be preferred. But that is the conclusion which I have reached. In my view, GC1.2 contains no promise on the vendor's part to deliver property and chattels in repair. I see no sufficient reason for attributing to the provision any effect other than that of condition (in the Corbin sense), the effect for which the choice of language is appropriate ….

I conclude that in the present case the only right of Mr and Mrs McTier was to avoid the contract. That GC1.2 makes the contract voidable, not void, where the property is not delivered in repair is clear, and I need not consider whether on its proper construction the clause makes the contract voidable at the option of the vendor in any circumstances. I have no doubt that the clause at least gives the purchaser the right to avoid.

Judgment for the defendants.

Contingent conditions to performance and formation

[20.20] This chapter is concerned with contingent conditions that qualify the performance of a contract. Less commonly, a contingent condition may qualify the *formation* of a contract. On this distinction, see *Perri v Coolangatta Investments Pty Ltd* (1982) 149 CLR 537 at [20.50].

Conditions precedent and subsequent to performance

[20.25] In the case of contingent conditions to performance, a distinction is sometimes drawn between conditions precedent and subsequent. A contingent *condition precedent* to performance is one which must be fulfilled before the parties are bound to perform their contract. A contingent *condition subsequent* is one where the parties' obligation to perform is immediately binding but will come to an end should the event specified in the condition occur. However, the effect of the condition is more significant than the terminology used to describe it. See further *Meehan v Jones* (1982) 149 CLR 571, 592 (see [6.150]); *Perri v Coolangatta Investments Proprietary Limited* (1982) 149 CLR 537, 541 (at [20.50]).

THE DUTY TO CO-OPERATE

[20.30] A contingent condition is one which the parties have not undertaken to fulfil. Nonetheless parties may be obliged, either expressly or by implication, to co-operate in ensuring the condition is satisfied. On the implied duty to co-operate, see further at [14.70]–[14.190].

THE CONSEQUENCES OF NON-FULFILMENT

[20.35] Where a contingent condition of performance is not fulfilled, the contract will either be *void* or, more commonly, *voidable*. Where a contract is void, this means that it comes to an end automatically. Where a contract is voidable, the contract may be brought to an end on the election of one or other of the parties. Which of these possibilities applies in a particular case is a matter of construction. In *Suttor v Gundowda Pty Ltd* (1950) 81 CLR 418, the High Court displayed a preference for finding that non-fulfilment of the condition renders the contract voidable, especially where the event upon which the condition depends may be brought about by the default of one of the parties. In *MK & JA Roche Pty Ltd v Metro Edgley Pty Ltd* [2005] NSWCA 39, the New South Wales Court of Appeal stressed that ultimately the effect of non-fulfilment of a contingent condition must be determined, as a matter of construction, by focusing on the intentions of the parties as evidenced by the language in which the contingent condition is framed.

Suttor v Gundowda

[20.40] *Suttor v Gundowda Pty Ltd* (1950) 81 CLR 418 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: Suttor, the *vendor/defendant*, and Gundowda Pty Ltd, the *purchaser/plaintiff*, entered into a contract dated 20 October 1947 for the sale of a pastoral property. Clause 12 of the contract provided that: in the event of the consent of the Treasurer not being obtained within two months from the date hereof or within such further period as may be mutually agreed upon by the parties hereto, this contract shall be deemed to be cancelled, and upon the vendor returning to the purchaser any deposit paid herein neither party shall be under any further liability to the other for any sum for damages, cost or otherwise. The two-month period referred to in cl 12 of that contract expired on 20th December 1947. The Treasurer's consent in writing was obtained on 5th January 1948. On 15th January 1948, the vendor's solicitor, by letter, informed the purchaser's solicitor that as the Treasurer's consent had not been obtained within the stated period of two months, the contract was no longer effective after 20th December 1947. The purchaser sought specific performance of the contract.]

LATHAM CJ, WILLIAMS AND FULLAGAR JJ: [440] [One of the contentions raised on appeal was that] cl 12 of the contract of 20th October 1947 provided that in the event of the consent of the Treasurer not being obtained within two months from its date [440] (that is 20th December 1947) or within such further period as might be mutually agreed upon by the parties the contract should be deemed to be cancelled and upon the vendor returning to the purchaser any deposit neither party should be under any further liability to the other for any sum for damages, costs or otherwise, and that the consent of the Treasurer was not obtained within two months so that the contract was automatically cancelled on that date … So far as cl 12 is concerned, there are, in our opinion, two answers to the contention of the appellant.

In the first place McManamey was at Gundowda from 29th November to 8th December 1947 and he gave evidence of conversations between himself and the defendant which his Honour accepted and which are quite sufficient to prove an oral agreement prior to 20th December that the time for the Treasurer's consent should be extended for a reasonable period after that date. This agreement would vary cl 12 whether that clause originally provided for an automatic cancellation or not. This variation of cl 12 was expressly alleged in the statement of claim. It was a variation of a contract for the sale of land and therefore a contract which could not have been proved if the Statute of Frauds (now s 54A of the *Conveyancing Act 1919* (NSW) as amended) had been pleaded. But the statute was not pleaded and it was therefore open to the plaintiff to prove the variation.

In the second place, although cl 12 in terms provides for an automatic avoidance of the contract on the occurrence of a specified event, that is (even if no agreement for an extension of time were

Suttor v Gundowda cont.

made) by no means the end of the matter. The effect of contractual provisions of this character was discussed and explained in *New Zealand Shipping Co Ltd v Société des Ateliers et Chantiers de France* [1919] AC 1. Lord Atkinson said (at 9):

> It is undoubtedly competent for the two parties to a contract to stipulate by a clause in it that the contract shall be void upon the happening of an event over which neither of the parties shall have any control, cannot bring about, prevent or retard. For instance, they may stipulate that if rain should fall on the thirtieth day after the date of the contract, the contract should be void. Then if rain did fall on that day the [441] contract would be put to an end by this event, whether the parties so desire or not. Of course, they might during the currency of the contract rescind it and enter into a new one, or on its avoidance immediately enter into a new contract. But if the stipulation be that the contract shall be void on the happening of an event which one or either of them can by his own act or omission bring about, then the party, who by his own act or omission brings that event about, cannot be permitted either to insist upon the stipulation himself or to compel the other party, who is blameless, to insist upon it, because to permit the blameable party to do either would be to permit him to take advantage of his own wrong, in the one case directly, and in the other case indirectly in a roundabout way, but in either way putting an end to the contract.

Where the event in question is one which cannot occur without default on the part of one party to the contract, the position is clear. The provision is then construed as making the contract not void but voidable: only the party who is not in default can avoid it, and he may please himself whether he does so or not. In the present case the happening of the event (not obtaining the Treasurer's consent) may be brought about by failure on the part of either party to take certain necessary steps (provision of particulars by the vendor or making of application by the purchaser) to obtain the Treasurer's consent, or it may be brought about without any default on the part of either party. In fact, although there was some argument to the contrary, it was, we think, brought about without any default on the part of either party. Such a case is perhaps not quite so clear as the simpler case where the event cannot occur without default on one side or the other. But we are of opinion that the *New Zealand Shipping Case* [1919] AC 1 requires the same construction to be given to the contract in both classes of case. The provision in question is to be construed as making the contract not void but voidable.

The question of who may avoid it depends on what happens. If one party has by his default brought about the happening of the event, the other party alone has the option of avoiding the contract. If the event has happened without default on either side, then either party may avoid the contract. But neither need do so, and, if one party having a right to avoid it does not clearly exercise that right the other party may enforce the contract against him. This is, we think, the view of Lord Shaw and Lord Wrenbury in the *New Zealand Shipping Case* [1919] AC 1, and it is consistent with what was said by Lord Finlay [442] LC. The language of Lord Atkinson (1919) AC, at 10, 11 may perhaps be regarded as expressing a different view, but we doubt whether his Lordship had in mind the precise point which arises here and which did not arise in the *New Zealand Shipping Case* [1919] AC 1. Although the effect of a provision in a contract may differ according to the events which happen, its construction cannot differ according to the events which happen. If "void" means "voidable", it means "voidable" whatever happens. It cannot very well mean "voidable" if an event happens through the default of one party, and "void" if the event happens without default by either party.

McManamey and Allworth were at Gundowda from 27th to 31st December 1947. The construction of cl 12 which we have adopted is that the clause did not automatically cancel the contract of 20th October 1947 but only brought it to an end if after that date one of the parties exercised its option to cancel it. On 6th January 1948 the defendant's solicitor wrote to the plaintiff's solicitors that cl 12 of the contract spoke for itself and this may have been intended to be a notice that the defendant considered the contract to be cancelled. But there was no clear statement that the contract was considered by the defendant as cancelled until 15th January 1948 when the defendant's solicitor wrote to the plaintiff's solicitor that "the consent of the Treasurer was not obtained within the period of two months of the date of the contract and therefore the contract is no longer effective after 20th

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December 1947." But this letter was obviously written on the view, with which we do not agree, that cl 12 effected an automatic cancellation of the contract when the Treasurer had not consented by 20th December 1947. His Honour accepted the evidence of McManamey and Allworth of the events that occurred at Gundowda between 27th and 31st December, 1947, and it is clear from this evidence that the defendant was treating the contract as still on foot although he was asking for certain variations to which McManamey agreed provided the directors of the plaintiff approved. Before the defendant's solicitor purported to cancel the contract the consent in writing of the Treasurer to the transfer had been obtained on 5th January, 1948, and the cancellation was therefore too late … [444]

Clause 12 of the contract therefore remains a condition subsequent having the incidents already mentioned and did not operate to cancel the contract because either it was varied before 20th December 1947 so as to give the plaintiff a further reasonable time after that date to obtain the Treasurer's consent, or the defendant was too late in availing himself of any option he had to cancel the contract.

Appeal dismissed.

MK & JA Roche v Metro Edgley

[20.42] *MK & JA Roche Pty Ltd v Metro Edgley Pty Ltd* [2005] NSWCA 39 (Supreme Court of New South Wales – Court of Appeal).

[FACTS: Metro Edgley (Metro) accepted an offer by M K & J A Roche (Roche) to take a 40-year lease of a restaurant. The contract included cl 2A(b) which stated: "This contract will be deemed to be automatically rescinded and of no force and effect if the conditions precedents are not satisfied by 31 December 2003 (or such later date the Developer may notify Roche in writing [up to 31 December 2004])". On 18 December 2003, Metro gave written notice to Roche that the date in cl 2A(b) of the agreement was extended to 31 March 2004. On 31 March 2004, several conditions precedent still had not been satisfied, but both parties continued on with the contract. On 10 May 2004, Roche received legal advice that non-satisfaction of the contingent conditions brought the contract to an end. On 21 May 2004, Roche sent a letter to Metro detailing the conditions giving rise to automatic rescission of the contract and claiming the return of the deposit it had paid. Roche sought a declaration that the contract had automatically come to an end because the contingent conditions had not been satisfied by the required date and that, as a result, it was entitled to a refund of the deposit. Metro argued that, on the true construction of cl 2A(b), non-fulfilment of the conditions precedent by the relevant date did not result in automatic termination of the contract but rather resulted in the contract being voidable at Roche's discretion. Metro argued that by continuing on with the contract after 31 March 2004, Roche had affirmed the contract and thus lost the right to bring the contract to an end. The trial judge accepted Metro's argument. Roche appealed.]

HODGSON J: [39] [T]he appellants submitted that, in holding that the non-fulfilment of the conditions precedent did not give rise to an automatic rescission, the primary judge had relied on what was said in *Suttor v Gundowda Pty Ltd* (1950) 81 CLR 418 at 440-442, to the effect that, where a contractual provision is to the effect that a contract is void upon the happening of an event that may be caused by the default of one party, then the provision is to be construed as making the contract voidable at the option of a party who is not in default. However, [the appellants] submitted, the question was one of construction and must depend on the particular words of the particular contract: see *Sandra Investments Pty Ltd v Booth* (1983) 153 CLR 153 at 161 and 165. A contract could be construed as providing for automatic termination even though the event could possibly be caused by the default of one party, and that party could be precluded from taking advantage of the clause

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by direct application of the principle that a party cannot be permitted to take advantage of its own wrong: see *Rudi's Enterprises Pty Ltd v Jay* (1987) 10 NSWLR 568 at 576-580.

[40] [The appellants] submitted that the wording of cl 2A(b), and in particular the use of the word "automatically", was such as to plainly exclude the need for a notice. This was also supported by the inclusion in the agreement of a Sunset Date: the primary judge's construction would mean that, if the Developer had extended the date to the Sunset Date, the agreement would continue beyond the Sunset Date unless one or other party gave a Notice of Termination, and that could not have been intended. It was also supported by the circumstance that the agreement itself distinguishes between automatic rescission and rescission pursuant to a right of rescission: see cl 5(d). The construction was also supported by the circumstance that the Developer, and only the Developer, is given the right to extend the deadline.

[41] [The respondents] submitted that most of the elements of the conditions precedent were within the control of one or both parties. Accordingly, the primary judge was correct to apply what was said in *Suttor*. [The respondents] also referred to *New Zealand Shipping Co Ltd v Société des Ateliers et Chantiers de France* [1919] AC 1 at 4, 9, 12–13, 15; *Meehan v Jones* (1982) 149 CLR 571 at 591–2; and *Sandra Investments*.

[42] In my opinion, the first question to be considered is whether *Suttor* establishes a principle of law to be applied irrespective of the apparent intention of the parties, or rather establishes a principle to guide the construction of a contract, which can give way to sufficiently clear expressions of intention to the contrary. I say at once that in my opinion it is the latter.

[43] *Suttor* concerned a contract for the sale of a pastoral property that provided that, in the event of the consent of the Treasurer not being obtained within two months of the date of contract or such further period as might be mutually agreed upon by the parties, the contract should be deemed to be cancelled. The High Court held that the non-receipt of the Treasurer's consent by the relevant date did not effect an automatic cancellation of the contract because the relevant clause should be construed as making the contract not void but voidable, the question of who might avoid it depending upon the event. The following reasoning appears in the joint judgment of Latham CJ, Williams J and Fullagher J at 440-442 [Hodgson J then quoted from *Suttor*, see [20.40]].

[44] [*Suttor*] could be read as setting out a principle of law rather than a mere guide to construction, but to so read it would in my opinion be against very well-established principles concerning the construction of contracts, including the principle that, if words used in a contract are unambiguous, the Court must give effect to them: *Australian Broadcasting Commission v Australasian Performing Rights Assn* (1973) 129 CLR 99 at 109. The passages referred to earlier in *Sandra Investments* are to similar effect. Accordingly, I respectfully agree with what Samuels JA (with the concurrence of Priestly JA and McHugh JA) said in *Rudi's Enterprises*, particularly in the following passage at 579:

> I cannot think that the Court in Suttor intended to lay down the proposition that parties could not stipulate for automatic termination of a contract save upon the occurrence of an event which, objectively, lay beyond their control. Effect must be conceded to the parties' intention.

[45] Thus, as asserted in *Rudi's Enterprises*, where the parties have clearly stipulated for automatic termination upon the occurrence of an event which could occur either without the default of either party or with the default of one or other party, and if the event occurs through the default of one party, then, although in general terms this would mean automatic termination, the party whose default caused the event can be prevented from taking advantage of this by direct application of the principle that a party cannot take advantage of its own wrong, rather than through construing the con-tract contrary to its clear meaning.

[46] I appreciate that, in some circumstances, this could give rise to uncertainty. If one has such a contract and the invalidating event occurs through the default of one party, that party will be in doubt as to whether performance of the contract is or is not required of it, unless some notice is given by

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the party not in default. However, I do not think this consideration does more than generally support the *Suttor* approach to construction.

[47] In my opinion, the *Suttor* principle of construction applies most powerfully if the invalidating event can occur only through a breach of contract by one or other party. The lesser the likelihood that the disabling event occur through the breach of one or other party, as distinct from some cause outside the control of the parties, the less powerfully does the principle apply. In the case of cl 2A of the Development Contract, it appears that there are many matters outside the control of the parties that could cause the non-fulfilment of the conditions precedent. So in my opinion, the *Suttor* principle does not apply at full strength. In my opinion, the wording of cl 2A(b), and particularly the use of the word "automatically", clearly shows that the parties' intention, as manifested by the words they chose, was that the contract would be automatically rescinded and that no notice was required; and that intention should prevail in the construction of the contract.

Appeal allowed.

[20.44] **Notes**

The approach adopted in *M K & J A Roche Pty Ltd v Metro Edgley Pty Ltd* [2005] NSWCA 39 received support in *Waterman v Gerling Australia Insurance Co Pty Ltd* [2005] NSWSC 1066; (2005) 65 NSWLR 300. In Queensland the *Suttor* approach was adopted in *Donaldson v Bexton* [2006] QCA 559; [2007] 1 Qd R 525 and *Quinn Villages Pty Ltd v Mulherin* [2006] QCA 433. In *Principal Properties Pty Ltd v Brisbane Broncos Leagues Club Ltd* [2013] QSC 148; [2014] 2 Qd R 132, Jackson J described the *Metro Edgley* approach as "the principle to be adopted in this context" (at [79]).

[20.45] As discussed in Chapter 23, the mere fact of delay by one party in performing a contract does not always entitle the other party to terminate that contract for breach. In many cases, before a right to terminate arises, a party must comply with a notice procedure. As recognised in *Perri v Coolangatta Investments Pty Ltd* (1982) 149 CLR 537, the rules are different where a contingent condition fails to be fulfilled on time.

Perri v Coolangatta Investments

[20.50] *Perri v Coolangatta Investments Pty Ltd* (1982) 149 CLR 537 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: Under a contract made on 7 April 1978, Perri, the *appellants/purchasers*, agreed to purchase land from Coolangatta, the *respondent/vendor*. No time was fixed for completion and the contract did not expressly provide that time was of the essence. The purchase price was $220,000 and a $22,000 deposit, payable on the signing of the contract, was in fact paid prior to signing. Special Condition 6 provided: "This contract is entered into subject to Purchasers completing a sale of their property … (at) Lilli Pilli".

The Lilli Pilli property was finally sold in March 1979 with completion on 13 June 1979. On 17 July 1978, the respondents issued a notice to complete to the appellants requiring completion by 8 August 1978. The sale was not completed by that date and on 10 August 1978, the respondent gave notice rescinding the contract. On 29 September 1978, the respondent sought a declaration

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that the contract had been validly rescinded. On 27 February 1979, the appellants purported to waive the benefit of Special Condition 6 and sought completion on 15 March 1979 or some mutually convenient date. The respondent replied that the contract had been rescinded by their notice of 10 August. On 21 March 1980, the appellants cross-claimed for specific performance of the contract.

Needham J found that the contract had been terminated before the appellants commenced proceeding, made the declaration sought and dismissed the cross-claim. An appeal by the appellants to the Court of Appeal was dismissed. The appellants appealed to the High Court.]

GIBBS CJ: [541] In my opinion Special Condition 6 made the completion of the sale of the property at Lilli Pilli a condition precedent to the performance of certain of the obligations of the parties under the contract, including the obligation of the respondent to complete the sale. It has sometimes proved difficult to decide whether a particular condition of a contract should be classified as a condition precedent or a condition subsequent, and as Professor Stoljar has pointed out in "The Contractual Concept of Condition" (1953) LQR 485 at 506, if the words "precedent" and "subsequent" are to make sense they must be connected with a definite point of reference; since they express a relationship in time, the question which must be asked is: "Precedent to what? Subsequent to what?" However, provided the effect of a condition is clearly understood, its classification may be merely a matter of words. The condition in the present case was not a condition precedent to the formation of a binding contract. It is clear that a binding contract came into existence immediately upon signature, and that the parties to it were from that moment subject to certain obligations. For example, the appellants became liable to pay a deposit. Further, there was implied a promise by the appellants that they would do all that was reasonable to find a buyer for the Lilli Pilli property and to complete a sale to him. It was held in *Lombardo v Morgan* [1957] VR 153, that a term of that kind should be implied in a contract for the sale of land which contained a condition making the sale subject to the vendor disposing of his business within 90 days; and that decision is consistent with authority, including decisions of this court … The fact [542] that a promise of this kind is implied is quite inconsistent with the notion that no binding contract has come into existence …

Special Condition 6 did not fix any time within which the sale of the property at Lilli Pilli was to be completed, nor did it fix a date for completion of the sale. In *Aberfoyle Plantations Ltd v Cheng* [1960] AC 115, it was said that in such a case the condition must be fulfilled within a reasonable time. This statement is clearly correct …

The condition was in my opinion one for the benefit of the appellants, who were therefore entitled to waive it, but since there was no waiver before proceedings were commenced that question need not be further considered.

Although by September 1978 a reasonable time had elapsed, the condition had not then been fulfilled. The question then arises whether the respondent was entitled to terminate the contract without first giving to the appellants a notice requiring them to fulfil the condition, or to perform the contract, within a reasonable time. *Aberfoyle Plantations Ltd v Cheng* is authority that no notice is necessary when the contract, expressly or by implication, fixes a date by which the condition is to be fulfilled. Their Lordships laid down the rule applicable to such a case as follows (at 125): "where a conditional contract of sale fixes (whether specifically or by reference to the date fixed for completion) the date by which the condition is to be fulfilled, then the date so fixed must be strictly adhered to, and the time allowed is not to be extended by reference to equitable principles." Their Lordships did not explain why equitable principles are inapplicable. The explanation given by Professor Treitel, in his work on *The Law of Contract* (4th ed, 1975), [544] p 570, is that the equitable principle that time is not of the essence of the contract does not apply, because "until the condition is performed the whole existence of the contract remains in doubt." However, their Lordships went on to say that if they had accepted counsel's argument that the vendor was entitled to a reasonable time to fulfil the condition, they would have been disposed to agree that time, not being originally of the essence of the contract, could not be made so by service of a notice when the vendor had not been guilty of any delay or default such as had to be shown in order to entitle the purchaser to serve such a notice: at 128. Those

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observations, as Cooke J said in *Hunt v Wilson* [1978] 2 NZLR 261 at 271 "certainly tend towards the view that, if no time is fixed for completion and a condition is to be satisfied within a reasonable time, the equitable requirements as to notice apply". Again, however, their Lordships did not explain why the equitable principles might apply in the one case but not in the other.

In *Maynard v Goode* (1926) 37 CLR 529 at 542, Higgins J said that he strongly thought "that a right to put an end to the contract or to refuse to perform it would not arise thereunder automatically without some warning notice from the vendor, fixing a reasonable limit of time for completion." Isaacs J may have been of a similar opinion: at 539–40. These remarks were obiter, because in that case it was held that the condition was performed within a reasonable time.

In *Gange v Sullivan* (1966) 116 CLR 418 a contract for sale contained a provision that the contract was subject to the purchaser obtaining a certain development approval of the local council and that in the event of the council not granting such approval by 31 May 1965 the contract was to be at an end. By 31 May 1965 the council's approval had not been given and the purchaser had not waived the condition. It was held that the contract did not automatically come to an end. Taylor, Menzies and Owen JJ said (at 441):

> Whilst the effect of a condition must in every case depend upon the language in which it is expressed and a decision upon the meaning of one condition cannot determine the meaning of a different condition, the authorities cited do show a disposition on the part of the courts to treat non-fulfilment of a condition such as that here under consideration as rendering a contract voidable rather than void in order to forestall a party to a contract from gaining some advantage from his own conduct in securing, or contributing to, the non-fulfilment of a condition bringing the contract to an end. Accordingly … we are [545] prepared to treat non-fulfilment of the condition as rendering the contract voidable rather than void.

Barwick CJ was of a similar opinion: at 429. The authority principally relied on by the court was *Suttor v Gundowda Pty Ltd* (1950) 81 CLR 418, a case of condition subsequent. It was not suggested in either of those cases that it was necessary to give any notice to complete. The non-fulfilment of the condition gave the party not in default a right to avoid the contract, but if that party did not exercise the right the other party might enforce the contract against him. In *Suttor v Gundowda Pty Ltd* the attempt to cancel the contract was made too late, since the condition had been fulfilled in the meantime: at 442. It appears to have been assumed that no notice to complete need be given before the right to avoid the contract was exercised. In both cases however a time for fulfilment of the condition was expressly fixed by the contract.

Suttor v Gundowda Pty Ltd and *Gange v Sullivan* are consistent with *Aberfoyle Plantations Ltd v Cheng*, and support the view that where a conditional contract fixes the date by which the condition is to be fulfilled the contract may be terminated if the condition has not been fulfilled when that date arrives, and that it is unnecessary to give any prior notice to the other party. The question is whether a similar conclusion should be reached when no time for fulfilment of the condition is fixed by the contract, and it accordingly must be performed within a reasonable time. There is little authority on the question, and it must be approached from the standpoint of principle. The condition with which we are concerned is not one which it was entirely in the power of the appellants to fulfil. Although they might use their best endeavours to find a buyer and complete a sale, it still remained necessary for them to find someone prepared to buy. Although, in fact, the appellants did not make reasonable efforts to satisfy the condition, it is impossible to say that they must have effected a sale within a reasonable time if they had made all reasonable endeavours to do so. It seems inappropriate that one party to a contract should be able to give a notice requiring the other to complete a sale, when that other party has not promised to do so (his promise only being to do all that was reasonable) and when it is not necessarily within his power to do so. The doctrines of equity enable a party to a contract to obtain specific performance notwithstanding his failure to carry out his obligations within a stipulated time, when that time is not of the essence of the contract. The party not in default has a correspond-[546]ing power to limit a particular time within which the other contracting party is to perform his

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obligations. These principles have recently been discussed by this court in *Louinder v Leis* (1982) 149 CLR 509. They apply, in my opinion, only where the party to whom a notice may be given is under a contractual obligation to act. In the present case no doubt the appellants might have been given a notice requiring them to make reasonable efforts to sell, but they could not have been required to make a sale, for that was beyond their power. Moreover, a notice can only be given when the party to whom it is addressed is either in breach of contract, or guilty of unreasonable delay. A purchaser might have made all reasonable efforts but yet have been unable to complete a sale, and in that situation the vendor would not be able to give a notice to complete, and would, if the appellants' argument is correct, be bound indefinitely to a contract that might never result in a sale. For these reasons I consider that when the time has elapsed for performance of a condition which is not a promissory condition, but a condition precedent to the obligation to complete a contract of sale, either party, if not in default, can elect to treat the contract as at an end if the condition has not been fulfilled or waived, and that it is not necessary first to give a notice calling on the party in default to complete the contract or fulfil the condition. What I have said is, of course, subject to any sufficient indication of a contrary intention in the words of the contract itself … Although in *Aberfoyle Plantations Ltd v Cheng* an erroneous view may have been taken of the nature of the condition there considered, nevertheless, in my respectful opinion, it was correct to hold that the time fixed by the contract for performance of the condition was not to be extended by reference to equitable principles, and the same conclusion should be reached when the condition is to be performed within a reasonable time. In the present case the learned trial judge was plainly correct in holding that a reasonable time for the fulfilment of Special Con-[547]dition 6 had expired by September 1978. In the view that I have formed, it was then open to the respondent to avoid the contract without first giving any notice limiting a reasonable time for completion. By instituting the proceedings, before the condition had been either fulfilled or waived, the respondent sufficiently evidenced its election to avoid the contract.

I would dismiss the appeal.

[20.55] MASON J (dissenting): [551] There is an obvious difference between the condition which is precedent to the formation or existence of a contract and the condition which is precedent to the obligation of a party to perform his part of the contract and is subsequent in the sense that it entitles the party to terminate the contract on non-fulfilment. In the first category the transaction creates no rights enforceable by the parties unless and until the condition is fulfilled. In the second category there is a binding contract which creates rights capable of enforcement, though the obligation of a party, or perhaps of both parties, to perform depends on fulfilment of the condition and non-fulfilment entitles him to terminate.

Conditions precedent within the first category may produce different consequences. In most cases, but perhaps not in all, a party may be able to withdraw from the transaction before fulfilment of the condition. But in each class of case, the transaction creates no enforceable rights in respect of the subject matter of the transaction unless the condition is fulfilled because, [552] until the occurrence of that event, there can be no binding contract. There is also a problem in classifying a transaction which imposes an obligation on a party not to do anything which will prevent fulfilment of the condition. Even if it is to be placed in the first category, that consisting of conditional contracts – and I have some difficulty in placing it there – it yields no enforceable rights with respect to the subject matter of the transaction unless and until the contract is fulfilled, though the obligation not to prevent fulfilment of the condition will be enforceable in the event of its breach. Generally speaking the court will tend to favour that construction which leads to the conclusion that a particular stipulation is a condition precedent to performance as against that which leads to the conclusion that the stipulation is a condition precedent to the formation or existence of a contract. In most cases it is artificial to say, in the face of the details settled upon by the parties, that there is no binding contract unless the event in question happens. Instead, it is appropriate in conformity with the mutual intention of the parties to say that there is a binding contract which makes the stipulated event a condition precedent to the duty of one party, or perhaps of both parties, to perform. Furthermore, it gives the courts greater scope in determining and adjusting the rights of the parties. For these reasons the condition will not

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be construed as a condition precedent to the formation of a contract unless the contract read as a whole plainly compels this conclusion. In the present case it is the language of special condition 6 alone which supports this result. By relating the condition to entry into the contract the clause seems to suggest that the formation or existence of the contract itself is dependent upon completion of the sale of the Lilli Pilli property. But the condition is capable of being read as a provision which conditions the performance of the obligations of one or both parties on fulfilment of the condition and the tradition in this Court is to so construe provisions of this kind – see *Maynard* (1926) 37 CLR 529; *Suttor v Gundowda Pty Ltd* (1950) 81 CLR 418, at 443; *Brien v Dwyer* (1978) 141 CLR 378, at 393, 397–8. Moreover, it is clear enough that the condition was inserted for the protection of the purchasers, to guard against the possibility that they would lack adequate finance. It was certainly not inserted for the protection of the vendor. Consequently, it is a condition which may possibly be capable of waiver by the purchasers, though this is not a point which needs to be decided.

In the Court of Appeal, Mahoney JA thought that special [553] condition 6 was not devoid of a promissory element. It relates to an event the occurrence of which, though not probably in the control of the purchasers, is closely affected by their actions and efforts. It would be absurd to suggest that the parties contemplated that the purchasers could refrain from making any effort to sell. That would be to give the purchasers what in substance amounted to an option to withdraw. I am therefore inclined to read the clause as imposing an implied obligation on the purchasers to make all reasonable efforts to sell the Lilli Pilli property. The conclusion to be drawn then is that the clause expresses a condition which is precedent to the appellants' duty to perform the contract, non-fulfilment of which entitles them to terminate the contract, rather than as a condition precedent to the formation of the contract. Instead of saying that the condition contains a promissory element I should prefer to say that the promise is the subject of an implied term which is associated with the condition, though perhaps not forming part of it.

It seems that in the courts below the parties were united in the view that the vendor, as well as the purchasers, could terminate for non-fulfilment of the condition. On the other hand, as I have said, the clause was inserted for the protection of the appellants and it is probably unnecessary to concede to the respondent for its protection an equivalent right to terminate for non-fulfilment of the condition. It seems to be sufficiently protected by relying on its rights to insist on completion of the contract within a reasonable time and by taking such action as it may in that event. Even so, the fact that the clause draws no distinction between the parties and is not expressed to condition only the purchasers' obligation to complete, together with their implied obligation to make all reasonable efforts to sell the Lilli Pilli property, provide strong ground for thinking that the respondent as well as the appellants had a right to terminate on non-fulfilment of the condition. This does not necessarily deny a right in the appellants to waive the benefit of the clause, the respondent's right of termination for breach, like the appellants', subsisting so long as there is no waiver by the appellant.

The provision is not one which on non-fulfilment works a termination of the contract of its own force without notice. If the clause were a self-executing provision its operation might cause very great confusion. It is preferable to view it as a provision which entitles the party to terminate by notice in the event of non-fulfilment, so that it has an operation similar to that of the clause [554] discussed in *Gundowda* (1950) 81 CLR, at 440–2. The consequence is that, if on non-fulfilment neither party exercises the right to terminate, the contract continues on foot.

As the contract does not fix a time for completion it would accord with general principle to say that completion must take place within a reasonable time. In this case what is a reasonable time for completion needs to be measured with special condition 6 in mind. The clause does not specify a time within which the Lilli Pilli property is to be sold. Accordingly, it contemplates that there should be such a sale within a reasonable time. But it seems obvious that the parties envisaged that in the ordinary course of events the sale of the Lilli Pilli property would be completed before the appellants could be called upon to complete the purchase of the subject property. The mutual intention was that the appellants could only be compelled to complete if they had received the proceeds of sale of the Lilli Pilli property. The consequence is that a reasonable time for completion must necessarily be

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somewhat longer than the reasonable time allowed for the purpose of fulfilment of special condition 6 …. [555] On the view which I take of this contract the respondent could not require the appellants to complete until a reasonable time had elapsed within which to complete the sale of the Lilli Pilli property. The primary judge found that a reasonable time had expired by September 1978, without making a specific finding on the question whether a reasonable time had elapsed by 17 July, when the [556] second notice to complete was given requiring completion on 8 August 1978. It is, I think, implicit in his Honour's findings that he rejected the respondent's case that a reasonable time had elapsed by 17 July, a rejection with which I agree. Mahoney JA seems to have been in error in stating that the parties accepted that a reasonable time had so elapsed. But even if that were so the giving of a notice in relation to special condition 6 may well have been an essential preliminary for insistence on completion.

In the result my conclusion is that the respondent did not validly rescind the contract by its notice given on 10 August 1978 and I would therefore allow the appeal.

[BRENNAN J agreed generally with Gibbs CJ. STEPHEN J agreed with Brennan J. WILSON J thought that a reasonable time had elapsed prior to the issue of the respondent's notice rescinding the contract.]

Appeal dismissed.

WAIVER OF A CONTINGENT CONDITION

[20.60] The parties to a contract subject to a contingent condition may decide that they will not require the condition to be fulfilled before performance of the contract is to occur. This is known as *waiver* of the contingent condition. One party alone will also have a right to waive compliance with a contingent condition where the condition is for the benefit of that party. *Perri v Coolangatta Investments Pty Ltd* (1982) 149 CLR 537, extracted at [20.50] illustrates that, in the absence of waiver by the date by which the condition needs to be fulfilled, the fact that a condition is for the benefit of one party may not preclude the other party from terminating the contract on the ground of failure of the condition.

CHAPTER ***21***

Termination for breach

[21.05] RIGHTS CONFERRED BY THE COMMON LAW 569
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> A lawyer asked to advise [whether a party can terminate for the other party's breach of contract] is not to be envied. A judgment must be made as to whether [the law permits the party to terminate the contract] … If [the law does] not, any purported termination will itself be wrongful and may give rise to a liability for damages. Errors can be expensive. (Borsky, "High Court States Principles of Repudiation: *Koompahtoo Local Aboriginal Land Council v Sanpine Pty Ltd*" (2008) 36 *Australian Business Law Review* 67 at 67.)

RIGHTS CONFERRED BY THE COMMON LAW

[21.05] This chapter considers when one party (the *aggrieved party*) will be entitled to terminate a contract by reason of a breach by the other party. As discussed in Chapter 22, a party may also be entitled to terminate where the other party repudiates his or her obligations under the contract. Regardless of whether or not the aggrieved party decides to terminate the contract, he or she will have a right to damages to compensate for loss caused by any breach of the contract. Where an aggrieved party seeks to terminate a contract, the other party may argue that the right to terminate has been lost by some conduct on the part of the aggrieved party. Restrictions on the right to terminate are discussed in Chapter 25.

WHAT CONSTITUTES A BREACH OF CONTRACT?

[21.10] Briefly, a breach occurs when a party fails to perform at the time or to the standard required by the contract. See Chapter 18.

WHEN IS THERE A RIGHT TO TERMINATE FOR BREACH AT COMMON LAW?

[21.15] Whether or not there is a common law right to terminate for breach depends primarily on the classification of the term breached. In this context, there is a three-fold classification of terms; conditions, warranties and intermediate or innominate terms.

1. If a term is a *condition*, the aggrieved party will be entitled to terminate for any breach of that term by the other party regardless of the gravity or consequences of the breach. Damages to compensate for any loss suffered by the aggrieved party will also be available.
2. If a term is a *warranty*, the aggrieved party will not be entitled to terminate merely by reason of a breach of the term by the other party, although damages to compensate for any loss suffered by the aggrieved party will be available.
3. If a term is an *intermediate* or *innominate* term, the aggrieved party's right to terminate depends on the gravity and consequences of the breach of the term. If the breach is likely to have serious consequences for further performance of the contract, then the aggrieved party will be entitled to terminate the contract in addition to claiming damages for any losses caused by the breach.

Accordingly, the first step in deciding whether or not an aggrieved party has a right to terminate for breach of a term of the contract is to classify the term in question. The most important categories are conditions and intermediate terms. Terms will generally only be classified as warranties where required by statute, in particular under the Sale of Goods Acts. The classification of a term as intermediate is likely to be preferred for the reason that it gives courts greater flexibility in dealing with a breach. In *Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26 at 69–70, Lord Diplock suggested that, in the absence of a clearly expressed intention to the contrary, a term will only properly be classified as a warranty if it is such that no possible breach could give rise to an event which would deprive the aggrieved party of substantially the whole of the benefit which it was intended she or he should receive from the contract.

TERMINATION FOR BREACH OF A CONDITION

[21.20] Where a term is classified as a condition, any breach of the term, regardless of its gravity, will give the aggrieved party a right to terminate the contract. In the absence of classification by statute or by an express statement by the parties, whether a term is a condition is determined as a matter of construction of the contract in question. The accepted test for whether a term should be construed as a "condition" in Australia is that stated by Jordan CJ in *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632, 641:

> The question whether a term in a contract is a condition or warranty, that is, an essential or inessential promise, depends upon the intention of the parties as appearing in or from the contract. The test of essentiality is whether it appears from the general nature of the contract, or from some particular term or terms, that the promise is of such importance to the promisee that he would not have entered into the contract unless he had been assured of a strict or substantial performance of the promise, as the case may be, and this ought to have been apparent to the promisor.

In *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322, 336, the High Court said that the test was "succinctly stated" by Jordan CJ in *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd*.

In *DTR Nominees Pty Ltd v Mona Homes Pty Ltd* (1978) 138 CLR 423, 431, Stephen, Mason and Jacobs JJ provided further explanation of the relevant test:

> [T]he quality of essentiality depends … on a judgment which is made of the general nature of the contract and its particular provisions, a judgment which takes close account of the importance which the parties have attached to the provision as evidenced by the contract itself as applied to the surrounding circumstances.

Some of the relevant factors in assessing whether or not a term is a condition are considered in *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632; (1938) 61 CLR 286 at [21.25] and *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322 at [21.35]. See also *Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26 and *Ankar Pty Ltd v National Westminster Finance (Australia) Ltd* (1987) 162 CLR 549 at [21.45] and [21.50]–[21.55].

Tramways Advertising v Luna Park

[21.25] *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632 (Supreme Court of New South Wales, Full Court) – Appeal from District Court; High Court of Australia (1938) 61 CLR 286.

[FACTS: Tramways Advertising, the *plaintiff*, carried on the business of advertising on trams for its clients. It entered into a contract with Luna Park, the *defendant*, whereby it agreed to exhibit for three "seasons" advertising material for the defendant by means of 53 boards displayed on the roofs of trams. In a letter, which was admitted to be part of the contract, the plaintiff guaranteed "that these boards will be on the track at least eight hours a day throughout the season". After the contract had been in operation for two seasons, the defendant objected that the display contracted for, namely that each and every board be displayed for at least eight hours on each and every day, was not being provided and that it did not regard itself as being bound by the contract any further. The plaintiff admitted that this service had not been provided but contended that the obligation imposed by the contract was performed if, during each season, each board was displayed for an average of eight hours per day. The plaintiff offered to discuss making any desired alterations to the form of the advertisement but the defendant refused to discuss the matter. The plaintiff then proceeded to display the boards on the trams when the defendant's third season began. The defendant protested against the boards being displayed at all, and in particular, objected that some of the advertising matter had become misleading; but it refused to give any instructions for alteration and the plaintiff continued the display. The plaintiff company sued for £86 13s 4d, being the charge for a calendar month at the beginning of the third season. The defendant in a cross-action sued for damages for breach of contract.]

JORDAN CJ: [641] In considering the legal consequences flowing from a breach of contract, it is necessary to remember that:

(1) the breach may extend to all or to some only of the promises of the defaulting party;

(2) the promises broken may be important or unimportant;

(3) the breach of any particular promise may be substantial or trivial;

(4) the breach may occur or be discovered (a) when the innocent party has not yet performed any or some of the promises on his part, or after he has performed them all; and (b) when the innocent party has received no performance from the defaulting party, or has received performance in whole or in part; and

(5) the resultant rights of the innocent party and the nature of the remedies available to him may depend upon some or all of these matters.

The nature of the promise broken is one of the most important of the matters. If it is a condition that is broken, that is, an essential promise, the innocent party, when he becomes aware of the breach, has ordinarily the right at his option either to treat himself as discharged from the contract and to recover damages for loss of the contract, or else to keep the contract on foot and recover damages for the particular breach. If it is a warranty that is broken, that is, a non-essential promise, only the

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latter alternative is available to the innocent party: in that case he cannot of course obtain damages for loss of the contract … The question whether a term in a contract is a condition or a warranty, that is, an essential or a non-essential promise, depends upon the intention of the parties as appearing in or from the contract. The test of essentiality is whether it appears from the general nature of the contract considered as a whole, or from some particular term or terms, that the promise is of such importance to the promisee that he would not have entered into the contract unless he had been assured of a strict or a substantial performance of the promise, as the case may be, and that this ought to have been apparent [642] to the promisor … If the innocent party would not have entered into the contract unless assured of a strict and literal performance of the promise, he may in general treat himself as discharged upon any breach of the promise, however slight. If he contracted in reliance upon a substantial performance of the promise, any substantial breach will ordinarily justify a discharge. In some cases it is expressly provided that a particular promise is essential to the contract, for example, by a stipulation that it is the basis or of the essence of the contract (*Bettini v Gye* (1876) 1 QBD 183 at 187) but in the absence of express provision the question is one of construction for the court, when once the terms of contract have been ascertained: *Bentsen v Taylor Sons & Co (No 2)* [1893] 2 QB 274 at 280–1 …

[643] In considering the exact measure of relief that can be obtained in any particular case for breach of an essential promise, it is necessary to have regard to a number of factors. The breach may, for example, not occur or not be discovered until the contract has been wholly or partly performed; or the innocent party may by his conduct after the breach has come to his notice debar himself from relying on it as a ground for putting an end to the contract. If an essential breach is committed when nothing has yet been done to perform the contract on either side, the innocent party if he chooses may by notice to the defaulting party exercise his right of treating himself as discharged from the obligations of the contract and may also sue for damages for loss of the contract. A communicated election to avoid the contract, if made by a party having a right to avoid it, is at once operative and is final and irrevocable. And a party who has purported to avoid a contract upon an untenable ground is entitled to rely upon any valid ground which in fact then existed and has not been waived: *Shepherd v Felt & Textiles of Australia Ltd* (1931) 45 CLR 359 at 377–8.

If, on the other hand, when the breach is discovered, the position is that the defaulting party has wholly (though defectively) performed the contract, and the innocent party has accepted performance in such a way that he can no longer reject it, he is remitted to his remedy by way of damages or set-off for the breach … If, however, he is still in the position to reject performance, he may determine the contract, refuse to perform it further, recover any payments made as on a total failure of consideration … and also recover damages for loss of the contract.

In the intermediate case, where the contract has been partly performed by the defaulting party, the questions arise:

(1) whether the innocent party who, after such part-performance, [644] becomes aware of an essential breach committed in the course of performance, can rely on the breach as a ground for putting an end to the contract as a source of future obligations, and obtaining damages for loss of contract; and

(2) whether, if he has and exercises this right, he is bound to accept and (upon a quantum meruit or otherwise) give consideration for, the defective part-performance, subject to a right to compensation for the defect, or whether he may reject the defective part-performance, obtain damages as on a total loss of contract, and also, in respect of any consideration already given by him, obtain relief as on a total failure of consideration.

It needs to be remembered also that if a party who becomes entitled to put an end to a contract by reason of a breach of an essential promise does not exercise this right when he becomes aware of the breach, he loses his right, and is remitted to his remedy by way of damages only, in the following events:

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(1) if, notwithstanding knowledge of the breach, he proceeds to do some act, referable to the contract, which could only be properly done by him by virtue of the contract treated as a subsisting contract …;

(2) if the party in default proceeds to carry on with the performance of the contract at the request or with the permission, express or tacit, of the innocent party, made or given with knowledge of the breach …

Subject to what has just been stated, the innocent party does not lose his right of putting an end to the contract merely by insisting that the breach shall be remedied; but if he takes this course, then:

(1) as a general rule, he cannot afterwards exercise the right without giving reasonable notice of his intention to do so …; and

(2) he loses his right if, before he exercises it, the defaulting party acquires and exercises a right to be relieved from the performance of the contract …

The fact, however, that the innocent party has condoned one breach of an essential promise does not prevent him from terminating the contract if a second breach of an essential promise is committed …

In cases where, notwithstanding a breach of an essential promise the innocent party by choice refrains, or through force of circumstances is prevented, from putting an end to the contract, so that it remains on foot, the contract continues to be binding on both parties. In such cases it is sometimes said that the condition is reduced to a warranty. In truth it continues to be a condition, but no higher relief can be obtained in respect of the particular breach than if it were a breach of warranty … compare *Sale of Goods Act 1923*, s 16. A party by committing a breach of an essential promise cannot thereby compel the innocent party to put an end to the contract; the latter may go on with the performance of the contract if he chooses … If however, the terms or nature of the contract are such that the participation of the defaulting party is necessary to enable the innocent party to perform the contract on his part, and this participation is withheld, the innocent party is necessarily prevented and absolved from performance so long as the participation is withheld. And, if the innocent party insists on upholding the contract, he must in any action brought by him on the contract as a subsisting contract prove performance on his own part or readiness and willingness to perform, as the case may be, unless of course upon the pleadings he is not put to such proof …

[646] One essential promise which is implied in every contract is that neither party will without just cause repudiate his obligations under the contract, whether the time for performance has arrived or not … that is, that he will not expressly or impliedly intimate that he refuses to be bound by the contract in whole or in part … A breach of this implied promise not to repudiate ordinarily entitles the other party to put an end to the contract; and a party who without lawful justification purports to treat himself as discharged from the obligations of the contract for a supposed essential breach by the other party is himself guilty of repudiating the contract and thereby vests in the other party a right lawfully to put an end to the contract … Repudiation may be express, as where a party expressly intimates that he refuses to perform the contract or to perform some part of it whether essential or not, or implied, as where he so conducts himself, whether in committing breaches or otherwise, as to show that he is refusing to perform the contract …

In the case of a contract which is to be, or in fact is, performed in instalments, a breach of contract committed in relation to one or more of the instalments, may amount:

(1) to a breach of a non-essential promise sounding only in damages; or

(2) to a breach of an essential promise a breach of which justifies avoidance of the contract; or

(3) to an implied repudiation of the obligations of the contract, that is, to a breach of the implied essential promise not to repudiate.

Section 34 of the *Sale of Goods Act 1923* deals only with the first and third of these matters; and it has been held that the test of whether a breach amounts to an implied repudiation is whether it is of such a kind or takes place in such circumstances [647] as to lead to the inference that similar breaches

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will be committed with respect to subsequent instalments: *Maple Flock Co Ltd v Universal Furniture Products (Wembley) Ltd* [1934] 1 KB 148 at 156. But apart from special circumstances, a vital breach of any essential promise is a good ground for avoiding the contract notwithstanding that no intention to repudiate can be established. Thus, if it was expressed to be of the essence of the contract that at least 1 ton should be delivered every week, failure to deliver a complete ton in any week would justify avoidance notwithstanding that the supplier was evidently straining every nerve to perform the contract and that there was no reason to suppose that the breach would be repeated …

[His Honour then concluded that the interpretation of the contract contended for by the plaintiff was correct and that the plaintiff was entitled to recover the amount claimed as a liquidated sum. Accordingly, the cross-action for damages for breach of contract failed. DAVIDSON J delivered a judgment to a similar effect and NICHOLAS J dissented.]

On Appeal to the High Court (1938) 61 CLR 286

[Luna Park (NSW) Ltd appealed to the High Court which by a majority (LATHAM CJ, RICH and McTIERNAN JJ, DIXON J dissenting) held that upon the true construction of the contract the plaintiff's undertaking was that each and every roof board would be displayed for at least eight hours on each and every day.]

[21.30] LATHAM CJ: [299] I agree with what Nicholas J says in his reasons for judgment – the guarantee "was an assurance to the advertiser that, whatever might be the ordinary practice of the Tramway Department, the boards advertising Luna Park would be on the track not only for an average period of eight hours but for eight hours on every day, and that by this means a proclamation of the allurements of Luna Park would continuously be thrust upon the attention of residents of the industrial suburbs" (1938) 38 SR (NSW) 661. It follows that in my opinion the plaintiff must fail upon the claim because the plaintiff sues upon the special contract and has not [300] performed the contract in accordance with its terms …

In the cross-action, the defendant claimed damages for breach of contract by the plaintiff in not displaying the 53 roof boards daily throughout the whole contract period of 52 weeks. The claim therefore was based first upon the actual failure to display the roof boards as required by the contract during the first and second seasons, and secondly, as to the third season, upon a discharge of the contract alleged to have been rightfully brought about by the defendant and entitling the defendant to sue for damages even though the time for performance by the plaintiff had not expired.

It is admitted by the plaintiff that if the defendant's construction of the clause is adopted the contract has been broken by the plaintiff. Therefore, as a matter of course, the defendant is entitled to nominal damages. This right does not in any way depend upon whether the defendant was entitled for any reason to determine the contract. Thus, according to the construction of the clause which I regard as correct, there is no doubt whatever as to the defendant's right of action for damages for breach of contract in respect of the first two seasons … [301] But it is quite impossible to ascertain from the evidence available the number of days upon which particular boards were not shown or, if shown, were shown for less than eight hours. Thus the extent of the breach is undetermined. It is true that there are many authorities which establish that substantial damages can be awarded where a breach of contract is established, even though the calculation of the damages is "not only difficult but incapable of being carried out with certainty or precision": *Chaplin v Hicks* [1911] 2 KB 786 at 791. See also other cases dealing with damages for loss of publicity. In all these cases, however, the extent of the breach was established. There was a complete failure on one side to perform the contract. In the present case, however, there has not been a complete, but only a partial, failure to perform the contract. The extent of the failure is unascertained. Thus the evidence which the defendant was content to put before the court does not make it possible to reach any estimate of damage suffered.

I can see no reason why the defendant should be allowed to fight the matter over again. If a party chooses to go to trial with incomplete evidence he must abide the consequences. The fact that his

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evidence might have been strengthened affords no reason for ordering a new trial. Thus the defendant must be content, so far as the first and second seasons are concerned, with nominal damages.

In the Supreme Court a great deal of attention was devoted to the consideration of the question whether the particular clause in question was a condition or a warranty. As I have already stated, this question is unimportant in relation to the right of the defendant to claim damages for past admitted breaches. The defendant [302] cannot, however, claim damages in respect of the third season unless he was entitled to determine the contract … In my opinion the defendant was entitled to determine the contract for two reasons: first, by reason of the plaintiff's actual breaches of the contract, and, secondly, by reason of the plaintiff's evident intention (notwithstanding the challenge by the defendant) to continue to perform the contract in the future in the same manner as in the past. In the past the plaintiff had given and had intended to give only a display of an average of eight hours per day per board, and it was clear that the plaintiff intended to continue to perform the contract in the same way. I agree with the Full Court that the guarantee clause was a condition and not a warranty in the sense in which those words are used by Fletcher-Moulton LJ in *Wallis Son and Wells v Pratt and Haynes* [1910] 2 KB 1003 at 1012. It was a term of the contract which went so directly to the substance of the contract or was so "essential to its very nature that its non-performance may fairly be considered by the other party as a substantial failure to perform the contract at all". The breach of such a term by one party entitles the other party not only to obtain damages but also to refuse to perform any of the obligations resting upon him.

The essential character of the clause in question appears both from its own terms and from the circumstances in which the contract was made. In the first place the words "we guarantee" are particularly suited, in a contract drawn by laymen, to emphasise [303] the importance of the clause which they introduce. In the next place, the payment of £20 per week was not to begin until the complete number of roof boards, namely, 53, were all displayed at the same time. The money is made payable "from date of first appearance of complete number of boards 53 in all". Thus, if the advertising company displayed even as many as 52 boards on every day throughout a whole season, it would never become entitled to recover any payment. This provision in the contract therefore supports the view that the parties regarded the completeness of the display contracted for as an essential element in the contract. Further, the preliminary correspondence shows that the advertising company represented continuity of display as an important feature … Reference to these statements is permissible because, when the question is whether a promise is a condition or a warranty:

> there is no way of deciding that question except by looking at the contract in the light of the surrounding circumstances, and then making up one's mind whether the intention of the parties, as gathered from the instrument itself, will best be carried out by treating the promise as a warranty sounding only in damages, or as a condition precedent by the failure to perform which the other party is relieved of his liability. In order to decide this question of construction, one of the first things you would look to is, to what extent the accuracy of the statement – the truth of what is promised – would be likely to affect the substance and foundation of the adventure which the contract is intended to carry out (*Bentsen v Taylor, Sons & Co (No 2)* [1893] 2 QB 274 at 281 per Bowen LJ) …

A discontinuous and irregular display is a different thing from a guaranteed continuous and regular display. For these reasons, in my opinion, [304] the clause was a condition and not a mere warranty. Accordingly any breach of the clause would entitle the defendant to determine the contract.

[His Honour then said that the words "at least eight hours" should be construed as meaning "substantially eight hours" but was of the opinion that the admission by the advertising company that each board was not exhibited for at least eight hours should be taken to mean that each board was not exhibited for substantially eight hours per day. His Honour continued:]

I am accordingly of opinion that the defendant was entitled to determine the contract by reason of the past breaches of the plaintiff.

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But further, apart from any right of the defendant to determine the contract on account of breach of a condition in the past, the defendant was entitled to determine the contract on another ground. The plaintiff was prepared to continue the performance of the contract only upon the basis of the plaintiff's construction of the contract, that is, by giving an average daily eight hours' display of the roof boards. Probably this was the only way in which the plaintiff could perform the contract, because the plaintiff did not control the running of the trams. The position, therefore, was that the plaintiff had given the defendant the right to believe that the contract would not be performed according to its true construction. The circumstances were such as to justify the inference that breaches such as those which had already been committed would be committed in [305] the future. The plaintiff, therefore, must be regarded as renouncing the contract which it had in fact made, even though it was contended by the plaintiff that the contract would be properly performed … The defendant can justify the repudiation of the contract upon any ground which in fact existed whether or not such a ground was previously relied upon by him: *Shepherd v Felt and Textiles of Australia Ltd* (1931) 45 CLR 359.

Appeal allowed.

Associated Newspapers v Bancks

[21.35] *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: Under a ten-year contract between the parties commencing 27 March 1949, Bancks, the *defendant*, agreed to provide weekly a full page drawing of "Us Fellers" or such other subject as might be agreed to from time to time, and Associated Newspapers, the *plaintiff* company, undertook to publish it each week on the front page of the comic section of the *Sunday Sun and Guardian*. Until 11 February 1951, the company complied but on that day and the next two succeeding Sundays, owing to a shortage of newsprint, the comic was printed so as to appear on the third page which was headed "Sunday Sun Comics". On the ground that the company had repeatedly, without his consent, and in the face of protest, broken its undertaking, the defendant gave notice by a letter of 26 February 1951 that he was no longer bound by the contract. The company commenced proceedings for an injunction restraining the threatened breach by the defendant of certain negative stipulations in the contract.]

DIXON, WILLIAMS, WEBB, FULLAGAR AND KITTO JJ: [336] The first question is whether the company's undertaking to present the defendant's drawings on the front page of the comic is a condition or essential term of the contract going to its very root, the breach of which would immediately entitle the defendant at his option to rescind the contract and sue for damages for the loss of the contract, or a mere warranty or non-essential and subsidiary term the breach of which would entitle the defendant to damages. Various tests have been advanced by the courts from time to time to determine what is a condition as opposed to a warranty. In *Bettini v Gye* (1876) 1 QBD 183 at 186, Blackburn J (as he then was) said that to determine this question the court must ascertain the intention of the parties to be collected from the instrument and the circumstances legally admissible with reference to which it is to be construed. Later in the same case his Lordship said that in the absence of any express declaration by the parties, as in the present case (at 188):

> we think that we are to look at the whole contract and applying the rule stated by Parke B to be acknowledged in *Graves v Legg* (1854) 9 Ex 709 at 716; 156 ER 304, see whether the particular stipulation goes to the root of the matter, so that a failure to perform it would render the performance of the rest of the contract by the plaintiff a thing different in substance from what the defendant has stipulated for; or whether it merely partially affects it and may be compensated for in damages.

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In *Bentsen v Taylor, Sons & Co (No 2)* [1893] 2 QB 280 at 281, Bowen LJ, discussing the distinction between a condition and a warranty, points out that in order to decide this question one of the first things you would look to is, to what extent the truth of what is promised would be likely to affect the substance and foundation of the adventure which the contract is intended to carry out. Perhaps the test is better formulated by Morison in his *Principles of Rescission of Contracts* (1916), p 86: "You look at the stipulation broken from the point of view of its probable effect or importance as an inducement to enter into the contract". As he says, this form is "expressly supported by such cases as *Flight v Booth* (1834) 1 Bing (NC) 370; 131 ER 1160 and *Bannerman v White* (1861) 10 CB (NS) 844; 142 ER 685 and, implicitly by such cases as *Hoare v Rennie* (1859) 5 H & N 19; 157 ER 1083 and *Powes v Shand* (1877) 2 App Cas 455." [337] The test was succinctly stated by Jordan CJ in *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632; 55 WN 228. The decision was reversed on appeal, but his Honour's statement of the law is not affected … At least it is clear that the obligation of the defendant to supply a weekly full-page drawing of "Us Fellers" and the plaintiff's undertaking to present the drawing each week on the front page of the comic section are concurrent and correlative promises. And it would not seem open to doubt that the obligation of the defendant is a condition. He was not an ordinary employee of the plaintiff. He was employed as a comic artist and his true work was to produce this weekly drawing. It was for this production that his substantial weekly salary was principally payable. It was what he was really engaged to do. It would be strange if his obligation was a condition of the contract while the undertaking of the plaintiff was a subsidiary term the breach of which would only sound in damages. The undertaking is really a composite undertaking comprising three ingredients: (1) to present a full-page drawing; (2) to present it weekly; and (3) to present it on the front page of the comic section. It is impossible to attach different values to the defendant's obligation and the plaintiff's undertaking. The plaintiff would not have employed the defendant unless it had been assured that the defendant would perform his promise, and the [338] defendant would not have made the promise unless he was assured that his work would be published in a particular manner. Obviously it was of prime importance to the defendant that there should be continuity of publication so that his work should be kept continuously before the public, that his work should be published as a whole and not mutilated, and that it should be published on the most conspicuous page of the comic section. It is like a contract under which an actor is engaged to act in a theatre. It is not sufficient if the employer pays his salary. He must find work for him to do in the sort of part, principal or subsidiary, for which he is employed … A failure to give an actor a proper part is a breach of contract which goes to its root and justifies the actor in treating the contract as rescinded: *White v Australian and New Zealand Theatres Ltd* (1943) 67 CLR 266.

In the present case the undertaking of the plaintiff company that each weekly full-page drawing would be presented on the front page of the comic section formed a condition a substantial failure in the performance of which would enable the defendant to treat the contract as at an end. The plaintiff committed three successive breaches of this condition and thereupon the defendant was certainly entitled to treat the contract as discharged. Such a failure of the plaintiff to perform the condition went to the root of the contract and gave the defendant as the injured party the right immediately to treat the contract as at an end: *Luna Park (NSW) Ltd v Tramways Advertising Pty Ltd*. He exercised this right by his letter of 26 February.

Reliance was placed by counsel for the appellant on the passage in the speech of Lord Selborne LC, which appears in *Mersey Steel and Iron Co Ltd v Naylor Benzon & Co* (1884) 9 App Cas 434 at 438–9:

> I am content to take the rule as stated by Lord Coleridge in *Freeth v Burr* (1874) LR 9 CP 208, which is in substance, as I understand it, that you must look at the actual circumstances of the case in order to see whether the one party to the contract is relieved from its future performance by the conduct of the other; you must examine what that conduct [339] is, so far as to see whether it amounts to a renunciation, to an absolute refusal to perform the contract, such as would amount to a rescission if he had the power to rescind, and whether the other party may accept it as a reason for not performing his part; and I think that nothing

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> more is necessary in the present case than to look at the conduct of the parties, and see whether anything of that kind has taken place here.

That passage has been cited in many subsequent cases … But his Lordship was not there dealing with a breach of a condition. In a contract for the sale of goods to be delivered by instalments the seller, a company, set up the refusal of the buyer to pay ad diem for one delivery as discharging it from the contractual obligation to make further deliveries. The refusal was based upon the ground that a petition for the winding up of the company had been presented and that it would be unsafe to make the payment. An argument for the seller that payment for every delivery was a condition precedent to the obligation to make subsequent deliveries was rejected and it was plain that the mere failure by the buyer to pay for the one delivery could not of itself go to the root of the contract. The House of Lords were thus concerned with the circumstances which might make a refusal by one party to perform an executory contract in what otherwise would be a non-essential respect a ground for the other party to the contract treating himself as discharged from further performance. This is apparent from the speech of Lord Blackburn …

The defendant had not to prove, as in the case of a breach or breaches of non-essential terms of a contract, that the conduct of the plaintiff was such as to amount to a refusal to be bound by the contract. But when the circumstances are considered they would appear to constitute such conduct. The plaintiff made [340] the original change without consulting the defendant. It maintained that it was entitled to do so despite his protests. On 26 February there had been three publications in breach of the contract and several more were intended …

The appeal should be dismissed with costs.

Appeal dismissed.

TERMINATION FOR BREACH OF AN INTERMEDIATE TERM

[21.40] Where a term is intermediate, the right to terminate depends on the nature of the breach and its foreseeable consequences. For a breach of an intermediate term to give rise to a right to terminate, the breach must be serious or deprive the aggrieved party of "substantially the whole benefit which it was intended that he [or she] should obtain from the contract": *Ankar Pty Ltd v National Westminster Finance (Australia) Ltd* (1987) 162 CLR 549, 562 (extracted at [21.50]). The category of intermediate term was formally recognised to be part of modern English contract law in the decision in *Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26, 70 (at [21.45]). The doctrine of intermediate terms received obiter support from the Australian High Court in *Ankar Pty Ltd v National Westminster Finance (Australia) Ltd* (1987) 162 CLR 549, 562 (extracted at [21.50]) and was recognised as part of Australian law in *Koompahtoo Local Aboriginal Land Council v Sanpine Pty Ltd* [2007] HCA 61; (2007) 233 CLR 115 (extracted at [21.60]).

Hongkong Fir Shipping Co v Kawasaki Kisen Kaisha

[21.45] *Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26 (Court of Appeal) – Appeal from Salmon J.

[FACTS: By a time charter Hongkong Fir Shipping, the *shipowners*, chartered a ship that they owned to Kawasaki Kisen, the *charterer*, for a period of 24 months. The charter party provided in cl 1

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that the vessel be "delivered and placed at the disposal of the charterers at Liverpool … she being in every way fitted for ordinary cargo service". Clause 3 provided that the shipowners should "maintain her in a thoroughly efficient state in hull and machinery during service". The vessel was delivered to the charterers on 13 February 1957, and on that day sailed from Liverpool to Newport Mews, Virginia, to load coal and carry it to Osaka where she arrived on 25 May. Between Liverpool and Osaka the ship was at sea for about eight and a half weeks but was off hire for a further five weeks owing to various machinery breakdowns. At Osaka a further period of 15 weeks was required to make her ready for sea. On 6 June 1957, the charterers terminated the charterparty because of the delay, due, as they alleged, to the unseaworthiness of the vessel and claimed damages for breach of contract. On 8 August, the shipowners intimated that they would treat the termination as wrongful and would hold the charterers liable in damages. In November 1957, the shipowners issued a writ against the charterers claiming damages for wrongful repudiation of the charterparty.

Salmon J held that although the shipowners were in breach of their obligation to provide a seaworthy ship by reason of their failure to provide a competent and sufficient engine room staff, such a failure did not amount to a breach of condition justifying the charterers in repudiating the charter party unless the delays involved in making the ship seaworthy were so great as to frustrate the commercial purpose of the charter. He held that on the facts the charter party had not been so frustrated. The charterers appealed.]

DIPLOCK LJ: [65] Every synallagmatic contract contains in it the seeds of the problem: in what event will a party be relieved of his undertaking to do that which he has agreed to do but has not yet done? The contract may itself expressly define some of these events, [66] as in the cancellation clause in a charterparty; but, human prescience being limited, it seldom does so exhaustively and often fails to do so at all. In some classes of contracts such as sale of goods, marine insurance, contracts of affreightment evidenced by bills of lading and those between parties to bills of exchange, Parliament has defined by statute some of the events not provided for expressly in individual contracts of that class; but where an event occurs the occurrence of which neither the parties nor Parliament have expressly stated will discharge one of the parties from further performance of his undertakings, it is for the court to determine whether the event has this effect or not.

The test whether an event has this effect or not has been stated in a number of metaphors all of which I think amount to the same thing: does the occurrence of the event deprive the party who has further undertakings still to perform of substantially the whole benefit which it was the intention of the parties as expressed in the contract that he should obtain as the consideration for performing those undertakings?

This test is applicable whether or not the event occurs as a result of the default of one of the parties to the contract, but the consequences of the event are different in the two cases.

Where the event occurs as a result of the default of one party the party in default cannot rely upon it as relieving himself of the performance of his own undertaking. This is only a specific application of the fundamental legal and moral rule that a man should not be allowed to take advantage of his own wrong. Where the event occurs as a result of the default of neither party, each is relieved of the further performance of his own undertakings and their rights in respect of undertakings previously performed are now regulated by the *Law Reform (Frustrated Contracts) Act 1943*.

This branch of the common law has reached its present stage by the normal process of historical growth, and the fallacy in Mr Roskill's [counsel for the charterers] contention that a different test is applicable when the event occurs as a result of the default of one party from that applicable in cases of frustration where the event occurs as a result of the default of neither party lies, in my view, from a failure to view the cases in their historical context. The problem: in what event will a party to a contract be relieved of his undertaking to do that which he has agreed to do but has not yet done? has exercised the English courts for centuries, probably ever since [67] assumpsit emerged as a form of action distinct from covenant and debt and long before even the earliest cases which we have been invited to examine; but until the rigour of the rule in *Paradine v Jane* (1647) Aleyn 26; 82 ER 897, was

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mitigated in the middle of the last century by the classic judgments of Blackburn J in *Taylor v Caldwell* (1863) 3 B & S 826; 122 ER 309, and Bramwell B in *Jackson v Union Marine Insurance Co Ltd* (1874) LR 10 CP 125, it was in general only events resulting from one party's failure to perform his contractual obligations which were regarded as capable of relieving the other party from continuing to perform that which he had undertaken to do. In the earlier cases before the *Common Law Procedure Act 1852*, the problem tends to be obscured to modern readers by the rules of pleading peculiar to the relevant forms of action (covenant, debt and assumpsit) and the nomenclature adopted in the judgments, which were mainly on demurrer, reflects this. It was early recognised that contractual undertakings were of two different kinds: those collateral to the main purpose of the parties as expressed in the contract and those which were mutually dependent so that the non-performance of an undertaking of this class was an event which excused the other party from the performance of his corresponding undertakings. In the nomenclature of the 18th and early 19th centuries undertakings of the latter class were called "conditions precedent" and a plaintiff under the rules of pleading had to aver specially in his declaration his performance or readiness and willingness to perform all those contractual undertakings on his part which constituted conditions precedent to the defendant's undertaking for non-performance of which the action was brought. In the earliest cases such as *Pordage v Cole* (1669) 1 Wms Saund 319; 85 ER 449 and *Thorpe v Thorpe* (1701) 12 Mod Rep 455; 88 ER 1448, the question whether an undertaking was a condition precedent appears to have turned upon the verbal niceties of the particular phrases used in the written contract and it was not until 1773 that Lord Mansfield, in the case which is a legal landmark, *Boone v Eyre* (1779) 1 Hy Bl 273; 126 ER 160, swept away these arid technicalities … The fact that the emphasis in the earlier cases was upon the breach by one party to the contract of his contractual undertakings, for this was the commonest circumstance in which the question arose, tended to obscure the fact that it was really the event resulting from the breach which relieved the other party of further performance of his obligations; but the principle was applied early in the 19th century and without analysis to cases where the event relied upon was one brought about by a party to a contract before the time for performance of his undertakings arose but which would make it impossible to perform those obligations when the time to do so did arrive … It was not, however, until *Jackson v Union Marine Insurance Co Ltd* that it was recognised that it was the happening of the event and not the fact that the event was the result of a breach by one party of his contractual obligations that relieved the other party from further performance of his obligations.

"There are the cases" said Bramwell B (at 147) "which hold that, where the shipowner has not merely broken his contract, but has so broken it that the condition precedent is not performed, the charterer is discharged: … Why? Not merely because [69] the contract is broken. If it is not a condition precedent, what matters is whether it is unperformed with or without excuse? Not arriving with due diligence, or at a day named is the subject of a cross-action only. But not arriving in time for the voyage contemplated, but at such a time that it is frustrated, is not only a breach of contract, but discharges the charterer. And so it should, though he has such an excuse that no action lies."

Once it is appreciated that it is the event and not the fact that the event is a result of a breach of contract which relieves the party not in default of further performance of his obligations, two consequences follow:

(1) the test whether the event relied upon has this consequence is the same whether the event is the result of the other party's breach of contract or not, as Devlin J pointed out in *Universal Cargo Carriers Corp v Citati* [1957] 2 QB 401 at 434;

(2) the question whether an event which is the result of the other party's breach of contract has this consequence cannot be answered by treating all contractual undertakings as falling into one of two separate categories: "conditions" the breach of which gives rise to an event which relieves the party not in default of further performance of his obligations, and "warranties" the breach of which does not give rise to such an event.

Lawyers tend to speak of this classification as if it were comprehensive, partly for the historical reasons which I have already mentioned and partly because Parliament itself adopted it in the *Sale of Goods*

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Act 1893, as respects a number of implied terms in contracts for the sale of goods and has in that Act used the expressions "condition" and "warranty" in that meaning. But it is by no means true of contractual undertakings in general at common law. No doubt there are many simple contractual undertakings, sometimes express but more often because of their very simplicity ("It goes without saying") to be implied, of which it can be predicated that every breach of such an undertaking must give rise to an event which will deprive the party not in default of substantially the whole benefit which it was intended that he should obtain from the contract. And such a stipulation, unless the parties have agreed that breach of it shall not entitle the non-defaulting party to treat the contract as repudiated, is a [70] "condition". So too there may be other simple contractual undertakings of which it can be predicated that no breach can give rise to an event which will deprive the party not in default of substantially the whole benefit which it was intended that he should obtain from the contract; and such a stipulation, unless the parties have agreed that breach of it shall entitle the non-defaulting party to treat the contract as repudiated, is a "warranty". There are, however, many contractual undertakings of a more complex character which cannot be categorised as being "conditions" or "warranties" if the late 19th century meaning adopted in the *Sale of Goods Act 1893*, and used by Bowen LJ in *Bentsen v Taylor Sons & Co (No 2)* [1893] 2 QB 274 at 280; 9 TLR 552 (CA), be given to those terms. Of such undertakings all that can be predicated is that some breaches will and others will not give rise to an event which will deprive the party not in default of substantially the whole benefit which it was intended that he should obtain from the contract; and the legal consequences of a breach of such an undertaking, unless provided for expressly in the contract, depend upon the nature of the event to which the breach gives rise and do not follow automatically from a prior classification of the undertaking as a "condition" or a "warranty". For instance, to take Bramwell B's example in *Jackson v Union Marine Insurance Co Ltd* itself, breach of an undertaking by a shipowner to sail with all possible dispatch to a named port does not necessarily relieve the charterer of further performance of his obligation under the charterparty, but if the breach is so prolonged that the contemplated voyage is frustrated it does have this effect.

In 1874, when the doctrine of frustration was being foaled by "impossibility of performance" out of "condition precedent" it is not surprising that the explanation given by Bramwell B should give full credit to the dam by suggesting that in addition to the express *warranty* to sail with all possible dispatch there was an implied *condition precedent* that the ship should arrive at the named port in time for the voyage contemplated. In *Jackson v Union Marine Insurance Co Ltd* there was no breach of the express warranty; but if there had been, to engraft the implied condition upon the express warranty would have been merely a more complicated way of saying that a breach of a shipowner's undertaking to sail with all possible dispatch may, but will not necessarily, give rise to an event which will deprive the charterer [71] of substantially the whole benefit which it was intended that he should obtain from the charter. Now that the doctrine of frustration has matured and flourished for nearly a century and the old technicalities of pleading "conditions precedent" are more than a century out of date, it does not clarify, but on the contrary obscures, the modern principle of law where such an event *has* occurred as a result of a breach of an express stipulation in a contract, to continue to add the now unnecessary colophon "Therefore it was an implied *condition* of the contract that a particular kind of breach of an express warranty should not occur." The common law evolves not merely by breeding new principles but also, when they are fully grown, by burying their ancestors.

As my brethren have already pointed out, the shipowners' undertaking to tender a seaworthy ship has, as a result of numerous decisions as to what can amount to "unseaworthiness", become one of the most complex of contractual undertakings. It embraces obligations with respect to every part of the hull and machinery, stores and equipment and the crew itself. It can be broken by the presence of trivial defects easily and rapidly remediable as well as by defects which must inevitably result in a total loss of the vessel. Consequently the problem in this case, is in my view, neither solved nor soluble by debating whether the shipowner's express or implied undertaking to tender a seaworthy ship is a "condition" or a "warranty". It is like so many other contractual terms an undertaking one breach of which may give rise to an event which relieves the charterer of further performance of

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his undertakings if he so elects and another breach of which may not give rise to such an event but entitles him only to monetary compensation in the form of damages. It is, with all deference to Mr Roskill's skilful argument, by no means surprising that among the many hundreds of previous cases about the shipowner's undertaking to deliver a seaworthy ship there is none where it was found profitable to discuss in the judgments the question whether that undertaking is a "condition" or a "warranty"; for the true answer, as I have already indicated, is that it is neither, but one of that large class of contractual undertakings one breach of which may have the same effect as that ascribed to a breach of "condition" under the *Sale of Goods Act 1893*, and a different breach of which may have only the same effect as that ascribed to a breach of "warranty" under that Act …

What the judge had to do in the present case as in any other case where one party to a contract relies upon a breach by the other as giving him a right to elect to rescind the contract, was to look at the events which had occurred as a result of the breach at the time at which the charterers purported to rescind the charterparty and to decide whether the occurrence of those events deprived the charterers of substantially the whole benefit which it was the intention of the parties as expressed in the charterparty that the charterers should obtain from the further performance of their own contractual undertakings … The question which the judge had to ask himself was, as he rightly decided, whether or not at the date when the charterers purported to rescind the contract, namely 6 June 1957, or when the shipowners purported to accept such rescission, namely 8 August 1957, the delay which had already occurred as a result of the incompetence of the engine room staff, and the delay which was likely to occur in repairing the engines of the vessel and the conduct of the shipowners by that date in taking steps to remedy [73] these two matters, were when taken together, such as to deprive the charterers of substantially the whole benefit which it was the intention of the parties they should obtain from further use of the vessel under the charterparty.

In my view, in his judgment – on which I would not seek to improve – the judge took into account and gave due weight to all the relevant considerations and arrived at the right answer for the right reasons.

[SELLERS LJ considered the relevant clauses to be warranties. UPJOHN LJ was of the opinion that where a term was not a condition, the question was whether the breach of the term went to the root of the contract.]

Appeal dismissed.

Ankar v National Westminster Finance (Aust)

[21.50] *Ankar Pty Ltd v National Westminster Finance (Aust) Ltd* (1987) 162 CLR 549 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: Ankar Pty Ltd (*Ankar*) entered into an agreement with National Westminster Finance (Australia) Ltd, previously called Lombard Australia Ltd (*Lombard*), guaranteeing the performance of a hirer General Energy (Manufacturing) Pty Ltd (*Manufacturing*) under a contract for the hire of machinery. Under cl 8 of the agreement, Lombard agreed, inter alia, to notify Ankar if Manufacturing proposed to sell or assign its interest in the machinery. Under cl 9, Lombard agreed to notify Ankar if Manufacturing was in default under the lease, whereupon Lombard and Ankar were to consult about the course of action Lombard would take following the default. Manufacturing defaulted under the contract of hire and thereafter assigned its interest in the machinery to its parent company. Lombard consented to the assignment. Lombard did not notify Ankar of Manufacturing's proposal to assign. Lombard also failed to notify Ankar before the assignment that Manufacturing was in default under the contract. Nor was there any consultation between Lombard and Ankar to determine what course of action Lombard would take. Ankar brought an action in the Supreme Court of New South Wales

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for a declaration that it was released from its obligations under the Agreement. The trial judge made the declaration. An appeal by Lombard to the Court of Appeal was allowed. Ankar then appealed, by special leave, to the High Court.]

MASON ACJ, WILSON, BRENNAN AND DAWSON JJ: [553] [This appeal] raises an important question of principle: In what circumstances does a creditor's breach of a contract of guarantee discharge the surety from liability under that contract? … [555] The critical issue is whether Lombard's breaches of the Security Deposit Agreement discharged Ankar from its obligations under that agreement …

The appellant's case was that it was discharged from liability on the ground that the breaches of cll 8 and 9 were breaches of essential conditions or, alternatively, on the ground that they were material breaches of the contract of guarantee. It was not in controversy that a surety is discharged from its obligation under a contract of suretyship by the creditor's breach of an essential condition, so long at any rate as the surety treats the contract as at an end. On the other hand Lombard strongly contested the notion that a surety is discharged by anything less than a breach of an essential term or a breach going to the root of the contract. According to Lombard, discharge of the surety for breach of the suretyship contract by the creditor is governed by the ordinary principles of the law of contract, there being no special rule applicable to contracts of suretyship.

Unfortunately the decided cases do not speak with a single voice on the issues presented by these arguments. On the contrary, support can be found in the authorities for a variety of discordant propositions relating to the discharge of the surety. For the moment we shall pass them by with a view to stating as briefly as may be the relevant principles of the general law of contract as they apply to the discharge of the surety's obligations under the suretyship contract for breach of it by the creditor.

Breach of an essential term or a breach going to the root of the contract will of course discharge the surety from future liability if the surety elects to rescind for breach. The expression "essential term" perhaps needs some elaboration in the context of suretyship because it is said sometimes that a surety is discharged by non-fulfilment of a condition precedent and at other times that a surety is discharged by the creditor's breach of a condition. A condition precedent may be unfulfilled without any breach of contract, but when performance by the creditor of a contractual promise is a condition precedent to the liability of the surety under a contract of [556] suretyship which otherwise involves no more than a guarantee of payment of the debt owing to that creditor, the creditor's promise is necessarily an essential term of the contract. The terms of the contract itself demonstrate that the surety would not have entered into the contract of suretyship unless he had been assured of a strict performance of the promise: see *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632, 641–2; *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322, 337; *DTR Nominees Pty Ltd v Mona Homes Pty Ltd* (1978) 138 CLR 423, 430–1. Conversely, when a contractual promise is a condition, performance of the promise, if the promisee so elects, is treated as a condition precedent to the promisee's executory obligations. Acceptance that a promissory condition operated in this way was the very foundation of the illuminating judgment of Bowen LJ in *Bentsen v Taylor, Sons & Co* [1893] 2 QB 274, at 281, where his Lordship, in deciding whether a provision was a condition or a warranty, spoke of the need to determine "whether the intention of the parties, as gathered from the instrument itself, will best be carried out by treating the promise as a warranty sounding only in damages, or as a condition precedent by the failure to perform which the other party is relieved of his liability": see also *Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26, 60, 69–70; *Bunge Corporation v Tradax SA* [1981] 1 WLR 711, 717, 718, 721, 725. In the context of suretyship contracts there has been a natural tendency to refer to the creditor's promise as a condition precedent rather than as a condition. This is because many guarantees are unilateral instruments, containing no promises on the part of the creditor except in so far as the recital of the consideration may refer to such a promise: see, eg, *United Dominions Trust (Commercial) Ltd v Eagle Aircraft Services Ltd* [1968] 1 WLR 74 which, though not involving a guarantee, concerned a unilateral undertaking. This tendency in no way affects the discussion in the preceding paragraph. In deciding whether a promise has the status and effect of a condition, courts are not too ready to construe a term as a

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condition and, at least where other considerations are finely balanced, will hold that a term is of such a kind that breach of it does not give rise to an automatic right to rescind. This approach is explained by a preference for a construction that will encourage performance rather [557] than avoidance of contractual obligations: *Cehave NV v Bremer mbH* [1976] QB 44, at pp 70–1; *Bunge Corporation* [1981] 1 WLR, pp 715–16.

Three factors favouring an interpretation of cll 8 and 9 that gives them the status of conditions may be mentioned. First, in the event of breach, neither clause is readily enforceable by way of an action for damages. Damages for breach would be difficult to prove. Secondly, the two clauses impose an obligation to give the surety notice and the purpose of imposing an obligation to give that notice is to enable the surety to take such action as it can to safeguard its position and its interests. Notice of default would alert the appellant to the immediacy of its risk, enable it to persuade the debtor to remedy the default and put possible alternative proposals to Lombard for its consideration. Notice of a proposed assignment would possibly enable the appellant to make suggestions for the disposition of the debtor's interest in the machinery to the best advantage. Thirdly, as Deane J explains in his judgment, it was clearly disadvantageous to the surety to be faced with a situation in which it would be liable as surety for a lessee of equipment who no longer enjoyed possession of that equipment, notwithstanding that it remained liable to pay the rent.

On the other hand the provisions are not expressed to be conditions. No time is fixed within which notice is to be given: cf *Midland Counties Motor Finance Co Ltd v Slade* [1951] 1 KB 346, at p 351; *United Dominions Trust (Commercial) Ltd* [1968] 1 WLR 74. And the language in which the clauses are expressed does not provide a clear indication that they were intended to be fundamental obligations or to operate as conditions. If the contract in the present case were to be viewed as an ordinary contract without regard to its special character as a suretyship contract, we incline to think that the factors already mentioned would establish cll 8 and 9 to be conditions. It is necessary to take into account as well the special character of a suretyship contract and of the relationship that it creates between the parties. As appears later, when this is done, the relevant obligations in cll 8 and 9 are seen clearly to have the status of conditions. As a preliminary to a consideration of this matter it is necessary to examine the special principle, said to apply to a suretyship contract, that the surety is discharged from its obligations by the creditor's breach of that contract, so long at any rate as the breach materially prejudices the interests of the surety. [559] … [The] principle is the by-product, not so much of the general law of contract, as of the special relationship between creditor and surety arising out of the suretyship contract upon which equity fastened to protect the surety when the creditor's conduct affected the surety's liability: *Holme v Brunskill* (1877) 3 QBD 495, 505. According to the English cases, the principle applies so as to discharge the surety when conduct on the part of the creditor has the effect of altering the surety's rights, unless the alteration is unsubstantial and not prejudicial to the surety. The rule does not permit the courts to inquire into the effect of the alteration. The consequence is that, to hold the surety to its bargain, the creditor must show that the nature of the alteration can be beneficial to the surety only or that by its nature it cannot in any circumstances increase the surety's risk, eg, a reduction in the [560] debtor's debt or in the interest payable by the surety. The mere possibility of detriment is enough to bring about the discharge of the surety.

The foundation of the rule is that the creditor, by varying the principal contract or extending time, has altered the surety's rights without consulting it though the surety has an interest in the principal contract, and that the creditor cannot be permitted to do: see *Rees v Berrington* (1795) 2 Ves Jun 540; 30 ER 765. Thus the liability of the surety was seen to be strictissimi juris and the suretyship contract was construed strictly in his favour. In the United States the rule of strict construction, though applied in favour of sureties who receive no reward, is not applied to a compensated surety, ie, a surety for reward. On the contrary the suretyship contract is construed against the compensated surety. This is largely because surety bonds are thought to resemble insurance contracts, the premiums are calculated against estimated risks and the contracts incorporate forms prepared by the surety. The United States approach may be partly due to a belief that the rule of strict construction, as it has been applied in England, is over-zealous in its protection of the surety: see Cardozo, *The Nature of the*

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Judicial Process (1921), pp 152 et seq; Stearns, *Law of Suretyship*, 5th ed (1951), §5.1; New York Law Revision Commission *Annual Report* (1937), pp 891–5; "Guarantee – Effect upon Guarantor's Liability of Subsequent Agreement between Creditor and Principal Debtor", Notes and Comments, *Australian Law Journal*, vol 8 (1934), p 58. According to the law as it has developed in the United States, the surety company must show some injury before it will be absolved from the contract (*Chapman v Hoage* (1936) 296 US 526, 530), and then it will be discharged pro tanto to the extent of the damage or prejudice it suffers: *American Jurisprudence* (2d) vol 74, "Suretyship", §259. In accordance with this approach, a surety company is discharged by the creditor giving the debtor an extension of time only if it is shown that the extension is a material variance in the sense that it results in material harm or prejudice to the surety: *Guaranty Co v Pressed Brick Co* (1903) 191 US 416.

Lombard does not submit that we should adopt the United States approach. For this reason, if no other, it would be inappropriate to take this course. However, it is of some importance to note that the different approach taken in the United States with respect to the special principle rests on the view that it arises not so much from the [561] terms of the suretyship contract, as from the relationship between the parties which the contract creates.

However, the fundamental question still remains: Is the rule of strict construction, derived from the equitable rule which protects the surety from any alteration in its liability, subsumed in the general principles of the law of contract so that the surety may treat itself as discharged from liability if, but only if, the breach is such as to entitle the surety at law to rescind the contract? In truth there is no difference between the equitable rule and the legal rule, as Lord Selborne LC pointed out in *In re Sherry; London & County Banking Co v Terry* (1884) 25 Ch D 692, 703. There, in a passage accepted by the Privy Council in *National Bank of Nigeria Ltd v Awolesi* [1964] 1 WLR 1311, 1316, his Lordship said: "A surety is undoubtedly and not unjustly the object of some favour both at law and in equity, and I do not know that the rules of law and equity differ on the subject."

At law, as in equity, the traditional view is that the liability of the surety is strictissimi juris and that ambiguous contractual provisions should be construed in favour of the surety. The doctrine of strictissimi juris provides a counterpoise to the law's preference for a construction that reads a provision otherwise than as a condition. A doubt as to the status of a provision in a guarantee should therefore be resolved in favour of the surety and so the provision should be interpreted as a condition, or perhaps as an innominate term, instead of a mere warranty. If the surety is to be discharged for breach of a promissory term in the suretyship contract, the justification for the discharge must be that the creditor has failed to comply with a provision that, as a matter of interpretation, requires strict performance as a condition precedent to the surety's obligation or at least requires substantial performance of the promise such that the surety would not have entered into the contract if it had not been assured that there would not be a breach such as the breach which in fact occurred. If on its true interpretation the term is not intended so to operate, it is not easy to understand why the surety should be discharged by its breach. Of course, in construing the contract the court is entitled to look to the general setting in which the contract has come into existence: see, eg, the discussion in *Reardon Smith Line Ltd v Hansen-Tangen* [1976] 1 WLR 989, at pp 996–7.

Since the judgment of Diplock LJ in *Hongkong Fir* [1962] 2 QB 26 it has [562] been recognized in England that a term in a contract may stand somewhere between a condition and a warranty. Such an intermediate or innominate term, it has been held, is capable of operating, according to the gravity of the breach, as either a condition or a warranty. In *Hongkong Fir* the obligation of seaworthiness was readily classified as innominate because a breach of the obligation might be trivial, making damages an adequate remedy, or grave, in which event it should have effect as a breach of condition. The innominate term brings a greater flexibility to the law of contract, as Lord Wilberforce has remarked on more than one occasion: *Reardon Smith Line Ltd v Hansen-Tangen* [1976] 1 WLR 989, 998; *Bunge Corporation* [1981] 1 WLR 711, 715–16. Although nothing less than a serious breach of an innominate term entitles the innocent party to treat the contract as at an end, the breaches of cll 8 and 9 merit this description.

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Whether provisions of the kind found in cll 8 and 9 are provisions which, if they cannot be described as conditions, can be described accurately as innominate terms is a question of some difficulty. In *Bunge Corporation*, Lord Wilberforce suggested [1981] 1 WLR 711, 715 that a time clause is not susceptible of treatment as an innominate clause because it can give rise to one kind of breach only – to be late. If this suggestion be well founded, and we would not wish to be taken as implying that it is, there might be a problem in treating the provisions of cll 8 and 9, especially cl 9, as innominate terms.

Be this as it may, returning to the earlier discussion of the two provisions in the context of conditions, the special characteristics of the suretyship relationship and the fact that it creates a liability strictissimi juris on the part of the surety are enough, when added to the factors mentioned earlier in this judgment, to justify treating the relevant obligations in the two provisions as conditions, breach of which, at Ankar's option, discharged it from performance of its obligations under the Security Deposit Agreement to the extent to which they related to the sum of $125 000.

In the result we would allow the appeals.

[21.55] DEANE J: [571] The limits of the rights and liabilities of the parties to the particular relationship of guarantor and principal creditor are consensual and it is impermissible to approach the identification of the special rules defining the prima facie limits of the consensual rights and liabilities of the parties to a particular category of relationship in a way that effectively denies their special character by forcing them into the formalized terms appropriate to the expression of universal principle. Put differently, special rules which prima facie (in the sense of being subject to contrary agreement) define the rights and liabilities of the parties to a particular category of consensual relationship, such as that between guarantor and creditor or that between partners, are essentially concerned with presumptions of contractual intention. There is no warrant, either in principle or in utility, for distorting them into statements of immutable and overriding principle.

[572] [It] seems to me that, regardless of what be the precise qualification, Lombard's departure from its obligations under cll 8 and 9 was plainly of the seriousness or substantiality necessary to preclude the existence of the circumstances under which Ankar had agreed to be liable as surety for the default of Manufacturing …

Appeals allowed with costs.

Koompahtoo Local Aboriginal Land Council v Sanpine

[21.60] *Koompahtoo Local Aboriginal Land Council v Sanpine Pty Ltd* [2007] HCA 61; (2007) 233 CLR 115 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: In July 1997, Koompahtoo and Sanpine entered into a joint venture agreement for the development of commercial land. Sanpine agreed to manage the development and Koompahtoo contributed the land to be developed. Clause 16 of the development agreement imposed many obligations on Sanpine including the obligation to establish a development program and to prepare the annual accounts of the joint venture. For example, cl 16.5(a) provided that "Sanpine shall ensure that proper Books are kept so as to permit the affairs of the Joint Venture to be duly assessed. Financial records comprised in the Books shall be kept in accordance with generally accepted accounting principles and in such a manner as enables the Venturers to extract from the Books any information in relation to the affairs of the Joint Venture as that Venturer may reasonably require from time to time". Clauses 12 and 16 of the agreement obliged Sanpine to prepare and submit to the management committee reports showing the expenditure incurred by the joint venture and the progress of development. Such reports were never prepared. Clause 16 also made specific provision as to how the project funds were to be dealt with. The specified requirements were not complied with. There

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were no meaningful joint venture accounts, and the records that had been kept by Sanpine failed to justify significant debts claimed by Sanpine to be chargeable to the joint venture. Furthermore, requests made to Sanpine for financial information were met with what the trial judge described as "evasion and prevarication".

Sanpine's breaches of the joint venture agreement were revealed when Koompahtoo went into administration, and Sanpine was unable to inform the administrator of the true financial position of the joint venture and how the money borrowed from financiers had been applied. On the basis of these breaches, the administrator terminated the joint venture agreement, alleging that Sanpine's conduct constituted repudiatory conduct. Sanpine commenced proceedings seeking a declaration that Koompahtoo's termination of the joint venture agreement was invalid.

At trial, Campbell J did not attempt to determine whether the terms breached were essential terms. Instead, his Honour assumed that the terms breached were intermediate terms and held that the repeated breaches of these terms amounted to repudiatory conduct. There is some uncertainty whether the finding that Koompahtoo could terminate the contract was based on a finding that its breach of intermediate terms had sufficiently serious consequences to justify termination or on a finding that Sanpine's breaches were repudiatory in nature. The High Court reasoned that as his Honour made no finding about the intention evinced by Sanpine (the requisite test of repudiation), his Honour's decision must have been based on breach of innominate terms.

In any event, Campbell J's finding was overturned on appeal to the NSW Court of Appeal. Giles JA (with whom Tobias JA agreed) focused his attention on whether Sanpine's conduct was repudiatory. As Koompahtoo representatives had not pressed Sanpine about its breaches, it could not be said that Sanpine had evinced an intention not to be bound by the contract. Giles JA also held that the terms breached were not conditions, nor were the consequences of the breaches sufficiently serious to allow Koompahtoo to terminate on the basis of breach of intermediate terms. Koompahtoo appealed to the High Court.]

GLEESON CJ, GUMMOW, HEYDON and CRENNAN JJ: [136] Leaving to one side remedies of injunction to restrain breaches of contract, or specific performance to enforce contractual obligations, the ordinary remedy for breach of contract is an award of damages. Termination of a contract in response to breach, where permitted, may alter substantially the allocation of risk accepted by the parties. The consequences of termination for the parties may be affected by external circumstances such as market fluctuations (see G H Treitel, *Remedies for Breach of Contract*, Clarendon Press, Oxford, 1988). At the same time, there are cases in which damages are not an adequate remedy, and it would be irrational and unjust to bind one party to an ongoing contractual relationship notwithstanding the other's default. The appellants say that binding Koompahtoo to a long-term joint venture with Sanpine is such a case. This, however, is not a suit for the dissolution of a partnership, and it is the law of contract that is to be applied.

For present purposes, there are two relevant circumstances in which a breach of contract by one party may entitle the other to terminate. The first is where the obligation with which there has been failure to comply has been agreed by the contracting parties to be essential. Such an obligation is sometimes described as a condition. In Australian law, a well-known exposition was that of Jordan CJ in *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632, 641-2, who, in comparing conditions and warranties, employed language reflected in many statutory provisions.

[138] The second relevant circumstance is where there has been a sufficiently serious breach of a non-essential term. In *Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26 the English Court of Appeal was concerned with a stipulation as to seaworthiness in a charterparty. Breaches of such a stipulation could vary widely in importance. They could be trivial or serious. The Court of Appeal held that to the accepted distinction between "conditions" and "warranties"; that is, between stipulations that were in their nature essential and [103] others, there must be added a distinction, operative within the class of non-essential obligations, between breaches that are significantly serious to justify termination and other breaches. This was a recognition that, although

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as a matter of construction of a contract it may not be the case that any breach of a given term will entitle the other party to terminate, some breaches of such a term may do so. Diplock LJ said [at 69-70] that the question whether a breach by one party relieves the other of further performance of his obligations cannot always be answered by treating a contractual undertaking as either a "condition" or a "warranty". Of some stipulations "all that can be predicated is that some breaches will and others will not give rise to an event which will deprive the party not in default of substantially the whole benefit which it was intended that he should obtain from the contract; and the legal consequences of a breach of such an [139] undertaking, unless provided for expressly in the contract, depend upon the nature of the event to which the breach gives rise". …

It may be true that this court has yet to accept *Hong Kong Fir* as an essential element in the grounds for decision in any particular case. However, in *Ankar Pty Ltd v National Westminster Finance (Aust) Ltd* (1987) 162 CLR 549, 562 Mason ACJ, Wilson, Brennan and Dawson JJ referred to *Hong Kong Fir* with evident approval and said that the concept of the intermediate and innominate term brings a greater [104] flexibility to the law of contract. With that in mind, it was entirely appropriate for Campbell J to proceed with an analysis of the facts in which *Hong Kong Fir* was applied.

The practical utility of a classification which includes intermediate terms, and the consequent greater flexibility of which the court spoke in *Ankar*, appears from several consequences. First, the interests of justice are promoted by limiting rights to rescind to instances of serious and substantial breaches of contract. Secondly, a just outcome is facilitated in cases where the breach is of a term which is inessential.

[140] As will appear later in these reasons, we rest our decision in the appeal not upon the ground of breach of an essential obligation, but upon application of the doctrine respecting intermediate terms …

[145] The approach of Campbell J was correct. The focus of attention should be the contract, and the nature and seriousness of the breaches. [146] There being, at this stage, no concern with waiver, estoppel, variation or forbearance, the intention that is relevant is the common intention of the parties, at the time of the contract, as to the importance of the relevant terms and as to the consequences of failure to comply with those terms. This is a question of construction of the contract to be decided in the light of its commercial purpose and the business relationship it established. The contract established a joint venture for a land development project of considerable size and complexity, to be carried out over a number of years. Koompahtoo brought to the joint venture its land. Sanpine brought its management and financial expertise. Sanpine's obligations as to dealing with joint venture funds (which were borrowed on the security of Koompahtoo's land) and maintaining proper books and accounts were of importance, not only to working out the ultimate result of the joint venture when the land had been developed and sold, but also to enabling the parties (and a person such as the administrator) to know material facts, and to make decisions and judgments informed by that knowledge. The inability of Sanpine to inform the administrator, or even the trial judge, of the true financial position of the joint venture, and to produce informative joint venture accounts, exemplifies the point. It was not within the contemplation of the contract that it should have been necessary for Koompahtoo, at any time, to have engaged in extensive legal process in order to find out what had become of the money borrowed on the security of its land, or to assess the financial state of the joint venture.

Although Campbell J was prepared to make the contrary assumption, there is much to be said for the view that the obligation contained in the first sentence of cl 16.5(a) was essential. Sanpine was to ensure that proper books (a defined term) were kept so as to permit the affairs of the joint venture to be duly assessed. "Books" was defined, in cl 1.1, to mean the accounting, financial and other documents and records of the joint venture. The purpose of para (a), and, in particular, the first sentence, is emphasised by para (b) of cl 16.5, which entitled each venturer to inspect the books at any time and receive such information and explanations as that venturer might require. Enabling the affairs of the joint venture to be duly assessed involved assessment with reasonable facility and

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within a reasonable time. Campbell J held, and it was accepted in the Court of Appeal, that there was a breach of cl 16.5(a). Giles JA said, and Campbell J was willing to assume, that a breach of cl 16.5(a) could be trivial. The clause, however, contains more than one obligation. An obligation to keep books and records in accordance with generally accepted accounting standards might be contravened in an immaterial way, and one would not attribute to the parties a common intention that any breach of such an obligation would justify termination. What, however, of the first sentence of para (a)? On its true construction, it required Sanpine to ensure that it kept such books and accounts as would permit the affairs of the joint venture to be assessed with reasonable facility and within a reasonable time. It is difficult to resist a conclusion that [147] such an obligation was essential. The ability to make an assessment of the affairs of the joint venture, at all times from the commencement of the agreement, was vital. Koompahtoo was providing the land to be developed. It was subject to legislative control of the use that could be made lawfully of its assets. It was subject to regulatory scrutiny. Decisions as to borrowing upon the security of its land, and undertaking commitments for the future, required a capacity to assess, at any time, and from time to time, the affairs of the venture.

In one sense, the breaches of cl 16.5 may have been so obvious, and so numerous, as to distract attention from the consideration that, within cl 16.5(a), there was an obligation of basic importance. The clearest evidence of breach of that obligation was what occurred when Mr Lawler was appointed administrator. He was unable to assess the affairs of the joint venture. Plainly, Sanpine was unable to provide him (and was later unable to provide the trial judge) with proper joint venture books and accounts that would permit such assessment. It is no answer to say that, given sufficient time, and with sufficient effort, it might have been possible to reconstruct, from such records as had been kept within Sanpine, an approximation of accounts which would reveal the financial position of the joint venture. The purpose of cl 16.5 went beyond enabling approximate assessment of the financial position of the joint venture after a prolonged inquiry or litigation. However, we do not rest our decision upon the ground of breach of an essential obligation.

Even if one were to accept that all of the contractual obligations with which Sanpine failed to comply were inessential in that, on the true construction of the contract, not every breach would justify termination and that the obligations were intermediate terms in the sense earlier discussed, nevertheless, as Campbell J and Bryson JA held, the breaches of Sanpine were in a number of respects gross, and their consequences were serious. Once again, the experience of the administrator following his appointment, and the unsuccessful attempts at the hearing before Campbell J to explain the use of all the funds borrowed on the security of Koompahtoo's land, demonstrate that the breaches found by Campbell J, and in particular the breaches of cl 16.5, went to the root of the contract. As a matter of construction of the contract, it ought to be accepted that breaches of that order deprived Koompahtoo of a substantial part of the benefit for which it contracted. Such breaches justified termination. On that ground, we would uphold the decision of the primary judge …

KIRBY J: [152] Campbell J, referring to leading Australian texts on contract law, identified two basic but different taxonomies as to the right to terminate a contract at common law. The first was drawn from Professor John Carter's text *Breach of Contract* (citation omitted) and the second from Dr N C Seddon and Associate Professor M P Ellinghaus's eighth Australian edition of Cheshire and Fifoot's *Law of Contract* (citation omitted).

[153] Both taxonomies arrange the decisional law into a tripartite scheme of classification. Both recognise that a right to terminate will arise in respect either of a breach of an "essential" term or "repudiation" (in the sense of conduct manifesting that one of the parties is unable or unwilling to perform). It is over the character of the third class of circumstances authorising termination that the taxonomies diverge. Professor Carter postulates that a right to terminate exists at common law in respect of "a sufficiently serious breach of an intermediate term". Dr Seddon and Associate Professor Ellinghaus, on the other hand, state that a right to terminate will arise in respect of a "[b]reach causing substantial loss of benefit"; that is, a "breach consisting of a failure to perform which has the effect of depriving the injured party of the substantial benefit of the contract" …

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[158] I would endorse the argument advanced in the ninth Australian edition of Cheshire and Fifoot (citation omitted):

> It is difficult to see the necessity for introducing [an "intermediate"] category of terms as a means of legitimising termination by reference to the extent of loss actually caused by a breach. Unless otherwise agreed, a breach that substantially deprives the other party of the benefit of a contract should entitle that party to terminate it, no matter whether the term in question is essential, intermediate, or inessential. The identification of a third kind of term distinct from, and intervening between, essential terms (conditions) and inessential terms (warranties), further proliferates an already over-elaborate terminology, and is an obvious invitation to circularity of reasoning. Many judgments acknowledge, even if only indirectly, that loss of substantial benefit may be sufficient as such to justify termination by the injured party.

Of the two taxonomies set out in the reasons of Campbell J, I prefer that proposed by Dr Seddon and Associate Professor Ellinghaus in the Australian edition of Cheshire and Fifoot. I regard it as a correct statement of the common law of Australia. Thus, a right to terminate arises in respect of: (1) breach of an essential term; (2) breach of a non-essential term causing substantial loss of benefit; or (3) repudiation (in the sense of "renunciation"). The common thread uniting the three categories is conduct inconsistent with the fundamental postulate of the contractual agreement.

This scheme of classification affords the requisite "flexibility" to ensure just outcomes in individual cases – a proper concern upon which the joint reasons rightly place emphasis. However, it avoids the need to invent so-called "intermediate terms". It also simplifies the determination of the consequences of breach of a contractual term, removing needless steps from the process of reasoning. Under taxonomies incorporating the "intermediate term", a finding that a term has been breached requires a determination of whether that term is essential or non-essential. If it is the latter, the court must then inquire as to whether it is of an "intermediate" character. If the answer to this question is in the affirmative, the court must make a further determination of whether the breach was of "sufficient seriousness" to warrant termination. The latter two steps are interrelated. However, when the "intermediate term" is excluded, the process of reasoning is simplified and clarified. Either the term breached is essential or it is non-essential. It cannot somehow be somewhere in between. If it is the former, termination will be justified. If it is the latter, the court can turn its attention directly to the objective indicia of "substantial loss of benefit" without feeling a need to affix the "intermediate" label on the contractual terms ex post facto.

I would prefer to decide the case on this footing. I express this preference because the holding in the joint reasons will now endorse the *Hong Kong Fir* doctrine as part of the common law of Australia. I cannot agree in that result. Before that doctrine passes into endorsement by this court as a binding rule of Australian law. I have endeavoured to explain its theoretical and practical imperfections [160] and to set out an alternative and preferable expression of the governing common law rule. It produces the same outcome in this case. However, it does so without resort to the unpersuasive classification that is now upheld and applied. …

In the circumstances of the case, I consider that the breaches established had, as a matter of fact, the effect of depriving Koompahtoo of the substantial benefit of the contract. That benefit in large part comprised the application of Sanpine's expertise in management to the joint venture project. The defaults of Sanpine undercut that benefit to a significant extent … [161] It follows that the appeal succeeds. The defaults of Sanpine were such as to vindicate Koompahtoo's termination of the agreement. Given the context, those defaults deprived Koompahtoo of the substantial benefit of the agreement. There is no need to appeal to the elusive and contestable concept of intermediate or innominate terms. So I would not do so. The Court of Appeal erred in its approach and in its conclusions. The orders of Campbell J should be restored for the reasons that I have explained.

Appeal allowed.

CHAPTER ***22***

Termination for repudiation

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THE CONCEPT OF REPUDIATION

[22.05] Where one party manifests an unwillingness or inability to perform his or her obligations under the contract, the other party may have the right to terminate. Traditionally, the party who is unwilling or unable to perform the contract has been said to have repudiated the contract. However, more recently the High Court appears to have adopted new terminology. For example, in *Koompahtoo Local Aboriginal Land Council v Sanpine Pty Ltd* [2007] HCA 61; (2007) 233 CLR 115, [44] the majority used the term renunciation to describe conduct of a party who is no longer willing or able to perform the contract. The majority also suggested that the term repudiation should be used to describe any breach of contract which justifies termination by the other party. However, in the following discussion the traditional terminology is used.

Hargrave J in *Earney v Australian Property Investment Strategic Pty Ltd* [2010] VSC 621, [77] set out a summary of the relevant legal principles concerning repudiation:

(1) The term repudiation is used in a number of senses. Relevantly, the High Court has recently stated that repudiation:

> may refer to conduct which evinces an unwillingness or an inability to render substantial performance of the contract. This is sometimes described as conduct of a party which evinces an intention no longer to be bound by the contract or to fulfil it only in a manner substantially inconsistent with the party's obligations. It be may [sic] termed renunciation. The test is whether the conduct of one party is such as to convey to a reasonable person, in the situation of the other party, renunciation either of the contract as a whole or of a fundamental obligation under it,

(2) It is not necessary to prove a subjective intention to repudiate. The test is an objective one.

(3) Whether there has been repudiation is a question of fact.

(4) Repudiation is not to be inferred lightly. It is a serious matter.

(5) Repudiation may be evidenced by a single act or by an accumulation of conduct in circumstances where no individual act on its own constitutes a repudiation.

(6) Repudiation does not bring an end to a contract. It is necessary for the innocent party to elect to accept the repudiation.

(7) Repudiatory conduct may be 'cured' by the party in breach, but only prior to the acceptance of the repudiation. Accordingly, once the innocent party has elected to terminate the contract for breach, it cannot thereafter be cured.

Repudiation and anticipatory breach

[22.10] An important aspect of the doctrine of repudiation is known as *anticipatory breach*. Anticipatory breach occurs when one party repudiates his or her obligations under the contract prior to the time set for performance of those obligations. In such a case, the aggrieved party will be entitled to terminate the contract. The aggrieved party may then immediately sue for damages for breach of the contract even though the date for performance by the repudiating party has not yet arrived. Termination for anticipatory breach does not affect the measure of damages available to the aggrieved party except insofar as it brings into immediate operation the duty of the aggrieved party to mitigate his or her damages. If, on the other hand, the aggrieved party chooses not to accept a repudiation occurring before the time set for performance, not only will the contract continue on foot but there will be no right to damages unless and until an actual breach occurs.

Reasons for the doctrine of repudiation

[22.15] A major justification of the doctrine of repudiation is purely practical:

> [I]t is surely more rational, and more for the benefit of both parties, that, after the renunciation of the agreement by the defendant, the plaintiff should be at liberty to consider himself absolved from any future performance of it, retaining the right to sue for any damage he has suffered from the breach of it. Thus, instead of remaining idle and laying out money in preparations which must be useless, he is at liberty to seek service under another [contracting party], which would go in mitigation of the damages to which he would otherwise be entitled for breach of the contract: *Hochster v De la Tour* (1853) 2 El & Bl 678 at 689–90; 118 ER 922 at 926.

THE ABSENCE OF WILLINGNESS OR ABILITY

[22.20] Where a party indicates an unwillingness or inability to perform the whole contract, there is no difficulty in finding that there has been a repudiation which the aggrieved party may accept by terminating the contract. However, the circumstances may be such that it cannot be said that a party is repudiating the whole contract. It may be, for example, that a party is unable or unwilling to perform only a particular obligation out of a number of obligations. Does this necessarily constitute repudiation? A party may also repudiate a contract through a lack of willingness or ability to perform particular obligations. This will be the case where the unwillingness or inability to perform relates to a condition or essential term of the contract (*Foran v Wight* (1989) 168 CLR 385, 395, 416 and 441). Further, breach of a non-essential term may also evidence an intention to be no longer bound by the terms of the contract: *Shevill v Builders Licensing Board* (1982) 149 CLR 620. (See also *Allphones Retail Pty Ltd v Hoy Mobile Pty Ltd* [2009] FCAFC 85; (2009) 178 FCR 57, [49].) There will also be a repudiation of the contract where a party's unwillingness or inability to perform particular obligations is "fundamental". An absence of willingness or readiness to perform will be fundamental where it would deprive the aggrieved party of substantially the whole of the benefit of the obligations

remaining to be performed under the contract (*Progressive Mailing House v Tabali* (1985) 157 CLR 17, 31; *Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd* (1989) 166 CLR 623, 641–4; *Foran v Wight* (1989) 168 CLR 385, 441).

CONDUCT AMOUNTING TO A REPUDIATION

[22.25] A party will repudiate a contract where he or she evinces a lack of willingness or ability to perform the contract. Either unwillingness or inability will suffice. Whether the conduct of a party amounts to repudiation does not depend upon the subjective intention of that party. As Devlin J stated in *Universal Cargo Carriers Corp v Citati* [1957] 2 QB 401, 437, a party that says "I would like to but I cannot" repudiates the contract equally to the party that says simply "I will not".

Express statement

[22.30] The most straightforward case of repudiation is where the repudiating party makes an express statement to the effect that he or she is unwilling or unable to perform the contract. A party may make such a statement so that the other party is required to mitigate his or her loss.

Repudiation based on words or conduct

[22.35] In the absence of such a statement, a party's words or conduct may indicate that he or she is repudiating the contract. The following cases illustrate the type of conduct that may amount to repudiation of the contract.

Conduct showing an inability or unwillingness to perform

Carr v JA Berriman

[22.40] *Carr v JA Berriman Pty Ltd* (1953) 89 CLR 327 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: On 3rd May 1950, T Carr & Co, the *building owner*, and JA Berriman Pty Ltd, the *builder*, entered into a contract whereby the builder promised "upon and subject to the Conditions annexed hereto" to erect a factory on land owned by the owner. The contract provided that excavation of the site would be carried out by the building owner on or before 29 May. It also provided that all steel for use in the work would be supplied by proprietor and fabricated by the contractor.

The site was not excavated by the building owner by the time specified in the contract. Rather the site was at this time and subsequently covered with heavy machinery. The builder accepted a tender from a company named Hurll & Douglas for the fabrication of the steel work in connection with the building. The building owner was aware of this sub-contract. Subsequently the building owner wrote to the builder and advised that it had itself entered into a contract for the supply and fabrication of the structural steelwork for the building.

On 31 July 1950, the builder's solicitor then wrote to the building owner stating "my client regards the proprietor's failure to prepare the site and its arrangements [regarding the steel] as two distinct breaches of the building agreement". The builder's solicitor purported to cancel the contract and claim damages. The building owner disputed this right. The trial judge entered judgment for the builder. The full court dismissed an appeal by the building owner. The building owner appealed to the High Court.]

Carr v JA Berriman cont.

FULLAGAR J: [348] … I am of opinion that the company's solicitor was fully justified in asserting, as he did in his letter of 31st July, that two breaches of contract had been committed by Carr. He had not given possession of the building site, duly excavated or at all, on the date required by the contract or thereafter. And he had repudiated his obligation to deliver the structural steel for fabrication. As soon as this position is realized, the case becomes, in my opinion, a reasonably clear one.

Both Owen J and the Full Court appear, as I have said, to have approached the matter on the assumption that the only breach committed by Carr before 31st July lay in his failure to excavate and deliver the site. It was held by Owen J and the majority of the Full Court that that breach did justify rescission. But there are difficulties about this view, and there is much force in the answer made to it by counsel for Carr. Where a contract contains a promise to do a particular thing on or before a specified day, time may or may not be of the essence of the promise. If time is of the essence, and the promise is not performed on the day, the promisee is entitled to rescind the contract, but he may elect not to exercise this right, and an election will be inferred from any conduct which is consistent only with the continued existence of the contract. If time is not of the essence of the promise, the promisee is not entitled to rescind for non-performance on the day. If either (a) time is not originally of the essence, or (b) time being originally of the essence, the right to rescind for non-performance on the day is lost by election, the promisee can, generally speaking, only rescind after he has given a notice requiring performance within a specified reasonable time and after non-compliance with [349] that notice: see, eg, *Taylor v Brown* (1839) 2 Beav 180; 48 ER 1149; *Stickney v Keeble* [1915] AC 386; *Panoutsos v Raymond Hadley Corporation of New York* [1917] 2 KB 473. In the present case it is not necessary to determine whether time was of the essence of the building owner's promise to excavate and deliver the site on or before 29th May. For the company after 29th May did acts which seem consistent only with the continued existence of the contract after that date. It is sufficient to say that its contract with Hurll & Douglas was made after that date, and that up to the middle of July it continued to press for the commencement of the necessary work on the site. And no notice was ever given specifying a time within which performance of the promise to excavate and deliver was required. It cannot, in my opinion, be maintained that the right to rescind for breach of that promise as such had not been lost. Owen J was of opinion that there was a "continuing breach" of that promise: in other words he seems to have held that a fresh right to rescind accrued from day to day. But, as Dixon J pointed out in *Larking v Great Western (Nepean) Gravel Ltd* (1940) 64 CLR 221:

> If a covenantor undertakes that he will do a definite act and omits to do it within the time allowed for the purpose, he has broken his covenant finally and his continued failure to do the act is nothing but a failure to remedy his past breach and not the commission of any further breach of his covenant: (1940) 64 CLR, at p 236.

On the other hand, the effect of the builder's election not to rescind was to leave it open to the building owner to remedy his breach. If he did remedy it, the builder would be bound to accept the late performance, though entitled, of course, to sue for any damage suffered by him through the delay. The position thus remaining open, it is correct, in my opinion, to say, as Mr Ferguson said, that a failure to remedy the breach might continue so long and in such circumstances as to evince an intention on the part of the building owner no longer to be bound by the contract. In other words, the only legitimate inference might be that he is saying: "Not only have I broken my contract by not doing the thing on the due day, but I am not going to do the thing at all", or "I am not going to do the thing at all unless and until I find it convenient to do it". In this way a right to rescind might arise which is not based on breach of the particular promise as such. That promise, even if essential to begin with, has become non-essential by reason of the election of the promisee, but the promisee may nevertheless be able to establish that the conduct of the promisor with respect to his promise amounts to a refusal to be bound by the contract: [350] cf *Associated Newspapers Ltd v Bancks* (1951) 83 CLR, p 339. It was on this view of the present case that the majority of the Full Court dismissed the appeal. Their Honours thought that the failure to do anything at all towards performance of the contractual duty, the failure to make any attempt even to move any of the machinery from the site, the placing of further machinery on the adjoining land, the absence of any explanation or any assurance

Carr v JA Berriman cont.

that any steps at all would be taken in the immediate future – that all these things showed that the building owner intended to take steps towards the performance of his duty if and when it suited him and not before. In other words, they showed that he did not intend to be bound by the contract within the meaning of the authorities. This view of the case rests on a sound legal foundation: the only question is whether it is warranted by the facts. The chief difficulty about accepting it lies in the fact that much heavy rain fell during the whole of June and July, and, although evidence accepted by the learned trial judge indicates that what was required could have been done between 3rd and 29th May, other evidence strongly suggests that the weather in June and July presented serious difficulties in connection with the removal of the machinery and the excavation of the site. And, as Mr Barwick rightly said, while the state of the weather is quite irrelevant on the question whether a breach of contract has been committed, it is very relevant on the question of the intention of the building owner with reference to the performance of the particular promise in question.

But the judgment under appeal leaves out of account the second breach of contract on the part of the building owner. And, when that second breach is brought into account, the difficulties of the case seem to me to disappear. This second breach went, as I have said, to a very substantial part of the contract. The estimated profit to the builder on the fabrication of the steel was £450, which was about one-fourth of the total estimated profit on the contract. The building owner's breach of contract meant that it lost that profit, and meant also, as the building owner must be taken to have known, that it became liable in damages under its own contract with Hurll & Douglas. Those damages were not likely to be less than £450. It is true that at a later date, on 21st August, the building owner's solicitors offered "to allow full and just allowances arising from" the placing of the fabrication of the steel in other hands. But this could not alter the position created by the breach of contract and by Mr Oser's letter of 19th July, which had announced that the amount allowed for the fabrication would simply be deducted from the contract price.

[351] One would be disposed to think that this second breach alone amounted to such repudiation as justified rescission. It is to be remembered that Carr's action in placing the fabrication of the steel in other hands was deliberate. Mr Barwick cited the case of *James Shaffer Ltd v Findlay Durham & Brodie* [1953] 1 WLR 106, but that case seems to present a marked contrast with this case. In that case the defendants were desirous of doing, and were in fact doing, their very utmost to perform their contract. It is possible that Carr believed that the architect had power under the conditions of the contract to "omit" therefrom the fabrication of the steel and so leave him at liberty to make other arrangements for the doing of that work. But he had, in the words of Latham CJ in *Luna Park (NSW) Ltd v Tramways Advertising Pty Ltd* (1938) 61 CLR, p 304 "given" Berriman "the right to believe that the contract would not be performed according to its true construction". Moreover, the step was taken without inviting the exercise of any discretion on the part of the architect. Mr Oser seems simply to have been presented with a fait accompli and to have tried to make the best he could of it.

But, when this second breach is viewed alongside the existing position with regard to the site, the case does not seem to admit of doubt. An election not to rescind for failure to deliver the excavated site on the due date could not deprive that failure of all significance. When a second breach occurs, the two combined may have a significance which it might not be legitimate to attach to the first alone. The position when Mr Oser's letter was received was this. The site had not been delivered on the due day. It was covered with heavy material. Nothing had been done towards putting it into the state required for delivery, further material had been placed on adjoining land on which it had been proposed to place the material then on the site itself, and repeated requests to the building owner had failed to produce any assurance that anything would be done within a reasonable time. Possession of the site was, of course, a vitally important matter. It is in this state of affairs that the building owner announces that he has engaged another contractor to carry out a large part of the work comprised in the contract. A reasonable man could hardly draw any other inference than that the building owner does not intend to take the contract seriously, that he is prepared to carry out his part of the contract only if and when it suits him. The intention must be judged from acts: *Robert A Munro & Co, Ltd v Meyer* (1930) 2 KB 312, at p 331. The intention "evinced" here is an intention

Carr v JA Berriman cont.

not to be bound by [352] the contract. When such an intention is shown, the other party is entitled to rescind the contract. Mr Berriman thought that such an intention had been shown, and he acted accordingly. In my opinion, he was justified in the view which he took, and acted as he was legally entitled to act. From this conclusion two things follow. On the one hand, the builder's solicitor's letter of 31st July effected not a repudiation but a lawful rescission of the contract. It affords, therefore, no cause of action to the building owner. It is not suggested that, apart from that letter, the builder had committed any breach of contract. On the other hand, the builder, having lawfully rescinded the contract, is entitled to recover damages for loss of the contract and for any particular loss suffered by it through any breach of contract committed by the building owner before rescission. The building owner's action, therefore, rightly failed, while that of the builder rightly succeeded.

[DIXON CJ and WILLIAMS, WEBB and KITTO JJ agreed with the reasons for judgment of Fullagar J.]

Appeal dismissed with costs.

[22.42] **Notes**

It should not be assumed that the continued breach of contractual obligations automatically constitutes repudiation. Where one party has not complied with the terms of the contract, but the other party has been happy to continue on with the contract despite the breach or breaches, such conduct is unlikely to sustain an inference of repudiation (see *Koompahtoo Local Aboriginal Local Land Council v Sanpine Pty Ltd* [2007] HCA 61; (2007) 233 CLR 115, extracted at [21.60]). A similar approach is adopted in the context of a party insisting on an erroneous interpretation of the contract (see *DTR Nominees Pty Ltd v Mona Homes Pty Ltd* (1978) 138 CLR 423, extracted at [22.65]).

Repudiation inferred from a combination of events

Progressive Mailing House v Tabali

[22.45] *Progressive Mailing House Pty Ltd v Tabali Pty Ltd* (1985) 157 CLR 17 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: Tabali, the *lessor/respondent*, leased factory premises to Progressive Mailing House, the *lessee/appellant*, for five years from 4 December 1978 at a monthly rental. The lease was unregistered but in registrable form. Clause 10.1 provided that if the rent was unpaid for 14 days, the lessor might re-enter "without prejudice to any claim which he might have against the lessee in respect of any breach of the covenants".

Under cl 16.1, the lessor was required to carry out certain work on the premises. The lessee was to take possession 14 days after the lessor gave the lessee notice in writing that, in the opinion of its architect, the work had been satisfactorily completed. The lessee, in fact, went into possession before the lease was executed. The lessor gave the notice but the lessee denied that the work had been satisfactorily completed and ceased to pay rent. The lessee also committed a number of other breaches of covenant and failed to remedy these pursuant to notices served by the lessor. The lessor brought action in the Supreme Court of New South Wales seeking possession, judgment for outstanding rent

Progressive Mailing House v Tabali cont.

and damages. Lusher J gave judgment for the lessor for possession. Assuming that a period of six months approximately would elapse before the respondent would succeed in reletting the premises, his Honour awarded $85,000 damages for breach of the covenants to pay rent and to pay outgoings. An appeal by the lessee to the Court of Appeal Division of the Supreme Court was dismissed. The lessee appealed to the High Court.]

MASON J: [27] [T]he rights of the parties … are to be determined on the footing that as between them, notwithstanding the failure to register the memorandum of lease, it brought into existence an equitable term of the duration which it specified and subject to the conditions which it contained. The question which arises is the extent, if at all, to which the relevant rights, duties and liabilities of the parties to the memorandum of lease fall to be determined by reference to the ordinary principles of contract law.

In *Shevill v Builders' Licensing Board* (1982) 149 CLR 620 at 625 Gibbs CJ assumed, without deciding, that the ordinary principles of contract law, so far as they are relevant to the [28] questions that arose in that case, applied to leases. He acknowledged that a contrary view had been expressed in *Total Oil Great Britain Ltd v Thompson Garages (Biggin Hill) Ltd* [1972] 1 QB 318 where the English Court of Appeal held that the principle that acceptance of a repudiation brings a contract to an end had no application to a lease because the lease was more than a contract – it created an estate or interest in land. The consequence in that case was that the lessee's claim that the lease for a term had been terminated by the lessee's acceptance of conduct of the lessor amounting to a repudiation failed. Lord Denning MR (with whom Edmund Davies and Stephen LJJ agreed) placed some reliance on the opinion expressed by Lord Russell of Killowen and Lord Goddard in *Cricklewood Property and Investment Trust Ltd v Leighton's Investment Trust Ltd* [1945] AC 221 at 233–4, that frustration does not bring a lease to an end. However, recently in *National Carriers Ltd v Panalpina (Northern) Ltd* [1981] AC 675, the House of Lords held that the doctrine of frustration was in principle applicable to leases.

[29] Although Knox CJ and Gavan Duffy J in *Firth v Halloran* (1926) 38 CLR 261 at 268 held that the doctrine of frustration did not apply to leases, Isaacs J was of the contrary opinion. Later Williams J, in *Minister of State for the Army v Dalziel* (1944) 68 CLR 261 at 302, stated that the House of Lords, in *Matthey v Curling* [1922] 2 AC 180, had decided that the doctrine did not apply to leases. But, as we have seen, the House of Lords has now held in *Panalpina* that it does …

The decisions in Australia and Canada, and the speeches in *Panalpina*, reflect the point made by Douglas and Frank in "Landlords' Claims in Reorganisations" (1933) 42 *Yale Law Journal* 1003, in footnote 6, that, as the law of landlord and tenant had outgrown its origins in feudal tenure, it was more appropriate in the light of the essential elements of the bargain, the modern money economy and the modern development of contract law that leases should be regulated by the principles of the law of contract.

Accordingly, the balance of authority here as well as overseas, and the reasons on which it is based, support the proposition that the ordinary principles of contract law, including that of termination for repudiation or fundamental breach, apply to leases. However, it has been suggested that the presence of an express proviso for re-entry in a lease excludes any other right of termination of the lease by the lessor … [30] If it be accepted that the principles of contract law apply to leases, it is not easy to see why the mere presence of an express power to terminate should be regarded as excluding the exercise of such common law rights as may otherwise be appropriate. It is, of course, open to the parties by their contract to regulate the exercise of the common law right to determine for repudiation or fundamental breach. But in this case the parties have not attempted to do so … Although it is now conceded by the appellant that the lease was terminated under cl 10.1, the issue of repudiation arises because, as will appear later, the respondent cannot recover damages for loss of the benefit of the lease unless it establishes repudiation or fundamental breach by the appellant.

Shevill decided (a) that the proviso for re-entry in that case, cl 9(a), did not make breach of the covenant to pay rent breach of an essential term of the contract; and (b) that the evidence did not justify a finding that there was a fundamental breach of contract which would have entitled the lessor

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to rescind under the general law and sue for damages. The court was not called upon to decide whether a lessor can sue to recover damages for loss of bargain when he re-enters under a proviso for re-entry in consequence of the lessee's repudiation or fundamental breach. Gibbs CJ (at 629), with whom Murphy and Brennan JJ agreed, in passing observed: "It may be that cl 9(a) excludes the rights that would ordinarily flow from an accepted repudiation of the contract." This observation looks back to the construction of the clause which his Honour had already examined in some detail. It should not be taken as an indication that a proviso for re-entry necessarily excludes damages for loss of bargain whenever the lessor forfeits the lease pursuant to the proviso. And the Chief Justice's earlier comment (at 628) on the need for very clear words to bring about the result that whenever a lessor could exercise the right to re-enter he could recover damages for loss of bargain is not directed to damages for repudiation by the [31] lessee; it is aimed at the suggestion that the proviso should be so construed as to provide for such damages when re-entry takes place on the occurrence of a breach which is non-fundamental or minor.

It is often said that repudiation or fundamental breach – in the sense of breach of a condition or breach of another term or terms which is so serious that it goes to the root of the contract, and thus deprives the other party of substantially the whole benefit of the contract – entitles the innocent party to rescind the contract and sue for damages for loss of the bargain … But this does not mean that such damages are recoverable only in the event of discharge for breach though it is essential to an award of damages for loss of bargain that the defendant can no longer be required to perform his contractual obligations in specie. This essential foundation may be established by a common law rescission of the contract by the innocent party or by a termination of the contract in the exercise of a contractual power so to do. In either event, assuming repudiation or fundamental breach by the defendant, he could no longer be required to perform the contract and is liable for damages for loss of bargain. The well-recognised distinction between common law rescission and termination pursuant to a contractual power supplies no reason in principle why such damages are recoverable by the innocent party in one case and not in the other, provided of course that the exercise of the power is consequent upon a breach or default by the defendant which would attract an award for such damages.

Termination in the exercise of a contractual power is not an affirmation of the contract which debars the innocent party from suing for damages for breach on the ground of repudiation or fundamental breach. This is because the termination, so far from insisting on performance by the party at fault, brings to an end his obligation to perform his promise in specie.

Nor can it be said in the case of repudiation or fundamental breach, that loss of the bargain is attributable to the innocent party's exercise of his contractual power to terminate. It is different in the case of termination for non-essential breach, as *Shevill* demonstrates, because, by terminating pursuant to the contract at that stage, the innocent party puts it beyond his power to insist on performance, thereby bringing to an end any possibility of repudiation or fundamental breach with consequential damages for loss of bargain.

If the lessor has a common law right to recover damages for loss [32] of bargain consequent upon repudiation or fundamental breach, in the event that the lease is determined, either by acceptance of that repudiation or fundamental breach or by forfeiture as a result of re-entry, there is a difficulty in asserting that the lessor's right to recover after re-entry is subject to an acknowledgment of that right by the terms of the lease. It would be consistent with the principle to say that the right continues unless it is excluded by the lease … The appellant's … submission is that the evidence does not justify the conclusion that the appellant had demonstrated that it would or could no longer perform its obligations under the memorandum of lease or that there had occurred a fundamental breach entitling the respondent to rescind and recover damages for loss of bargain. In support of this submission the appellant points out, correctly, that repudiation of a contract is a serious matter and is not to be lightly inferred and that neither a breach of a covenant to pay rent nor a breach of a covenant to repair, without more, [33] constitutes a breach of a fundamental term, nor amounts to a repudiation of a lease.

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Our consideration of the issue of repudiation and fundamental breach is complicated by the circumstances that the primary judge made no finding on the issue of repudiation because he thought, in the light of the Court of Appeal decision in *Shevill*, that it was unnecessary to do so and because Hutley JA, with whom Reynolds JA agreed, instead of examining the evidence relevant to the issue of repudiation, merely concluded that the appellant's conduct was repudiatory on the ground that it would have justified forfeiture "under circumstances in which the court would refuse relief". The primary judge's reasons for refusing relief against forfeiture were expressed in the following passage … This finding, though it comes close to a finding of repudiation, stops short of it … Repudiation or fundamental breach of a lease involves considerations which are not present in the case of an ordinary contract. First, the lease vests an estate or interest in land in the lessee and a complex relationship between the parties centres upon that interest [34] in property. Secondly, this relationship has been shaped historically in very large measure by the law of property, though in recent times the relationship has been refined and developed by means of contractual arrangements. Thus, traditionally at common law a breach of a covenant by a lessee, even breach of the covenant to pay rent, conferred no right on the lessor to re-enter unless the lease reserved a right of re-entry.

These incidents of the law of landlord and tenant indicate that mere breaches of covenant on the part of the lessee do not amount to a repudiation or fundamental breach … [His Honour then discussed the various breaches of covenant, other than the covenant to pay rent, and continued:]

[35] It is not suggested that the breaches so far discussed, viewed in isolation, amounted to a repudiation or fundamental breach of the lease. [36] It is the breach of the covenant to pay rent, in association with the other breaches, which is the central feature of the respondent's case on this issue … [37] The appellant's excuse for not paying the rent was that the work specified in the second schedule had not been carried out satisfactorily. Even assuming that this claim was well founded it did not entitle the appellant to refuse to pay the rent. The appellant persisted in maintaining a claim which was without any foundation … This was a refusal to carry out its obligations according to the terms of the unregistered lease and a persistence in carrying them out in a way substantially inconsistent with these terms … The rent did not represent but a nominal amount or but part of the valuable consideration which the appellant had agreed to provide in return for the right of use and occupancy which it argued [sic] under the memorandum of lease. It represented the whole of what the respondent was entitled to receive in the ordinary course in respect of the demised land during the term of the lease in a context where it would continue to be liable for some of the outgoings in respect of the premises.

In the result the evidence supports the conclusion that the appellant's conduct amounted to a repudiation of the lease or a fundamental breach of its obligations under the lease … I would dismiss the appeal.

[22.50] BRENNAN J: [39] A lessor can recover damages for loss of the benefit of a lease only [40] where the lessee has repudiated the lease before determination of the term. Such a repudiation is not necessarily established by proving a default in the payment of rent … For the reasons stated by Mason J, I think that … the lessee repudiated the contract embodied in the lease. That conclusion makes it necessary to decide in this case what was assumed but not decided in *Shevill v Builders' Licensing Board*, namely, whether the general contractual principles relating to rescission for anticipatory breach and damages for the loss of benefit of a contract apply when a lessee … repudiates his obligations under the lease … For reasons that I shall state presently I would hold that ordinary contractual principles do apply to a lease, but that the character of a lease as a demise distinguishes the consequences of [41] their application from their application to a contract that is not also a demise. If ordinary contractual principles apply to a lease, a fortiori they apply to an agreement to grant a lease or to an unregistered memorandum of lease which is not effective to convey a legal leasehold interest …

[42] Where, as in the present case, a lease contains a proviso for re-entry in certain events including the commission of specified breaches of covenant, it is not possible to imply a term which entitles the lessor to determine the lease in the event of anticipatory breaches of covenant that do not constitute a

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specified breach of covenant. The lessee's interest in the land, once vested in him by the demise, may be divested by breach of a condition of defeasance or by exercise of a power of re-entry for breach of covenant expressly reserved by the lease. A lessee's contravention of the provisions of a lease does not otherwise empower a lessor to determine the lease …

[43] A lessor's inability to determine a lessee's interest except where it is liable to forfeiture precludes the lessor from rescinding the lease for anticipatory breach, but it does not follow that the ordinary contractual principles relating to anticipatory breach do not apply to a lease where the lessee's interest is liable to forfeiture.

An objection taken in some jurisdictions to the application of those principles to leases is that a lease is a contract that has been executed or substantially executed by the lessor and that the principles relating to anticipatory breach apply only where the innocent party puts an end to executory obligations resting on him. It is true that, under an ordinary lease, the lessor's granting of the term discharges by performance his chief obligation, and the executory obligations under the lease rest chiefly on the lessee. If the lessor be under no executory obligations (or if his executory obligations be insubstantial), rescission for anticipatory breach by the lessee makes no difference (or no substantial difference) to the position of the lessor: he has parted with the leasehold interest and that interest is not liable to be revoked by mere rescission …

[44] In *Mackenzie v Rees* (1941) 65 CLR 1 at 15–16, Dixon J noted that there was then no English decision which applied the doctrine of anticipatory breach to contracts completely executed on one side … His Honour quoted from the *American Restatement of the Law of Contracts*, Art 318e, p 477: "There must be some dependency of performances in order to make anticipatory breach possible." That view commands substantial though not uniform support in the United States. Cooke J reviewed the authorities in *Long Island Rail Road Co v Northville Industries Corp* 362 NE (2d) 558 at 563 (1977), where he said:

> The doctrine of anticipatory breach has not generally been applied to all types of contracts, its application being limited ordinarily to bilateral contracts embodying some mutual and interdependent conditions and obligations. Moreover, limitations on the doctrine exist even in the instance of "a contract originally bilateral that has become unilateral and similarly unconditional by full performance by one party" … For the doctrine to apply there must be "some dependency of performances" (*Restatement, Contracts*, s 318, Comment (e)). For this reason, a party who has fully performed cannot invoke the doctrine even though the other party has repudiated.

The circumstance that obligations which have been performed are not affected by rescission for anticipatory breach does not necessarily mean that damages for anticipatory breach are denied to a party who has performed his obligations. The principles relating to anticipatory breach put both a shield and a sword in the hands of an innocent party who accepts the other party's repudiation. His shield is the ending of his executory obligations; his sword is an immediate right to damages. Where the contract has been fully performed by one party, no question of repudiation by him arises and he is under no executory obligation from which he might wish to be discharged in the event of repudiation by the other party. He has no need of a shield. But he may wish to brandish a sword. Although the paradigm case in which the principles are applied involves interdependent executory obligations, anomalies would occur if there were an unqualified rule that damages for repudiation by [45] anticipatory breach should be refused where the innocent party has fully performed his obligations, but granted where he has not. Whether the contract be executed or executory, it can be said that repudiation causes the innocent party loss of the benefit of the contract. Indeed, where the innocent party has fully performed his obligations, a repudiation by the other party deprives him not only of the profit to which his bargain entitled him but also of compensation for the cost incurred in performing his obligations.

On the other hand, it can be said that a party who has performed his obligations under a contract is entitled to no more and no less than the full and timeous performance of the obligations resting on

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the other party, and that an immediate award of damages for anticipatory breach of those obligations gives him more than the benefit of his bargain. There is substance in the observation by *Williston on Contracts* (3rd ed, 1968), vol 11, s 1313 that: "The law can properly excuse a promisor from performing whenever justice requires, but it does not have the same liberty of enlarging a promisor's contractual obligations." [46] Why should repudiation entitle the innocent party to accelerated payment when the contract stipulates that, in the circumstances that have occurred, that party should receive payment at a later time? …

However, there is no warrant for such a rule when the innocent party can and does revoke the benefit which the innocent party's performance of his obligations conferred on the repudiating party. Revocation of the benefit places the parties in a position similar to the position they would have been in if the contract had remained executory. Unless the innocent party has a right to damages in these circumstances, he cannot recover the benefit of his bargain. If he revokes the benefit that was conferred on the repudiating party, he cannot insist on the performance by that party of the interdependent obligations that fall due thereafter. Unless he is entitled to damages, he can obtain the benefit of the bargain only by foregoing the right to revoke the benefit, trusting that the other party will repent and perform the obligations he repudiated. The principles relating to anticipatory breach are intended to avoid the necessity for useless performance and to mitigate the damages for which the repudiating party is liable by permitting the innocent party to dispose of any property, services or other benefits to which the repudiating party would have been entitled under the contract. It accords with principle to permit a lessor to recover damages for anticipatory breach by a lessee when the benefit which has passed to the lessee – the interest in the land demised – is revoked by enforcing a forfeiture or by some other means of determining the lease. It accords too with authority …

[48] Acceptance of a surrender by a lessee who has repudiated a lease is at once an acceptance of the repudiation and a determination of the lessee's interest in the land. Where the lessee repudiates but does not give up possession, a lessor's acceptance must take some other form. Unless the lessee's interest in the land is determined in some [49] way, there can be no rescission of the contract, for the lessee continues to enjoy the benefit of the demise and to be liable to perform at least those covenants which touch and concern the land. So long as the lessee retains the interest which he took under the demise, neither party can put an end unilaterally to the executory obligations under the lease …

Where the lease is liable to forfeiture, as it was in the present case, enforcing the forfeiture both determines the lessee's interest in the land and constitutes the lessor's election to accept the repudiation …

[50] In the present case it was conceded that the service of the statement of claim determined the lessee's interest in the land. The statement of claim clearly accepted the lessee's repudiation and sought damages accordingly. Thus the elements of the lessor's cause of action were established. The assessment of damages by Lusher J conformed to principle. It was submitted that cl 10.1 of the lease limits the damages recoverable by the lessor to damages for past breaches of covenant. The submission is not borne out by the language of the clause. The clause specifies the events on the occurrence of which the right to re-enter arises and preserves "any claim which the Lessor may have against the Lessee in respect of any breach of the covenants … to be observed or performed". A claim for damages for anticipatory breach answers precisely that description …

I would dismiss the appeal.

[22.55] DEANE J: [52] As they developed, the contractual doctrines of frustration and termination for fundamental breach (or for repudiation) were not seen as applicable to an executed demise under which an interest or estate in land had actually passed to the tenant … The rationale of that approach was the perceived inappropriateness of those contractual doctrines to a leasehold estate viewed as analogous to a form of feudal tenure. On the other hand, the general trend in this century, particularly in relation to leases of urban premises, has been away from the type of lease which can realistically be so viewed. It has been towards the lease, at a commercial rental and for a shorter term, framed in the language of executory promises of widening content and diminishing relevance to the actual

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demise. It is apparent that the special rules of property law regarding chattels real are inadequate as the exclusive determinant of rights and liabilities under such modern leases. That being so, it has become necessary for courts to look somewhat more critically at the rational basis and justification of the traditional assumption that leases generally were beyond the reach of fundamental doctrines of the law of contract.

The actual application to leasehold interests of the common law doctrines of frustration and termination for fundamental breach involves some unresolved questions which are best left to be considered on a case by case basis whereby adequate attention can be focused on particular problems which might be overlooked in any effort at judicial codification. One cannot however ignore the fact that the clear trend of common law authority is to deny any general immunity of contractual leases from the operation of those doctrines of contract law. See, for example, *National Carriers Ltd v Panalpina (Northern) Ltd*. [I]t involves no more than recognition of the fact that the analogy between a leasehold and a freehold estate is an imperfect one and of the related fact that, except perhaps in the quite exceptional case of a completely unconditional demise for a long term with no rent reserved … the leasehold estate cannot be divorced from its origins and basis in the law of contract: the lease should be seen as "resting on covenant" (or contractual promise) and it is "the contract … and not the estate … which is the determining factor" (see *Firth v Halloran* (1926) 38 CLR 261 at 269 per Isaacs J) … [I]t should be accepted that, as a general matter and subject to one qualification, the ordinary principles of contract law are applicable to contractual leases. The qualification is that the further one moves away from the case where the rights of the parties are, as a matter of substance, essentially defined by executory covenant or contractual promise to the case where the tenant's rights are, as a matter of substance, more properly viewed by reference to their character as an estate (albeit a chattel one) in land with a root of title in the executed demise, the more difficult it will be to establish that the lease has been avoided or terminated pursuant to the operation of the ordinary principles of frustration or fundamental breach …

[O]nce it is accepted that the principles of the law of contract governing termination for fundamental breach are, as a matter of theory, applicable to leases generally, there is no difficulty in applying them to the present case in much the same fashion as to an ordinary executory contract: "[i]f the contract is avoided or dissolved … the estate in land falls with it": *Cricklewood Property & Investment Trust Ltd v Leighton's Investment Trust Ltd* at 240 per Lord Wright.

[54] Be that as it may however, once it is accepted that the principles of the law of contract governing termination for fundamental breach are, as a matter of theory, applicable to leases generally, there is no difficulty in applying them in the present case in much the same fashion as to an ordinary executory contract …

While the question is not without difficulty, I agree with other members of the court that the tenant's breaches of the memorandum of lease amounted, in the circumstances of the present case, [55] to fundamental breach of contract. It is not now suggested that the tenant is entitled to rely upon any special statutory provision precluding or controlling re-entry or providing for relief against forfeiture. It follows that the landlord was entitled to terminate the lease and, in accordance with ordinary contractual principles, sue the tenant for damages for loss of the benefit of the tenant's covenant to pay future rent and outgoings. The question arises whether that right to sue for general damages for loss of bargain survived the landlord's action in exercising the contractual right of re-entry contained in cl 10.1 of the memorandum of lease.

In *Shevill v Builders' Licensing Board*, it was held by the court that the lessor in that case was entitled only to unpaid past rent upon termination of the lease pursuant to the exercise of a contractual right of re-entry for breach of the covenant to pay rent promptly. The basis of the decision was not, however, a rejection of the proposition that the ordinary principles of contract law were applicable to the lease. The decision turned upon the conclusion that the breaches of the covenant to pay rent in that case did not constitute repudiation or fundamental breach. While the distinction between termination for fundamental breach and termination for a breach which the parties have agreed in advance would be such as to give rise to a right to terminate is not without difficulty (*Larratt v Bankers*

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and Traders' Insurance Co Ltd (1941) 41 SR (NSW) 215; *Sotiros Shipping Inc v Sameiet Solholt (The "Solholt")* [1983] 1 Ll R 605), the majority's reasoning in *Shevill* proceeded on an assumption that general damages for loss of the lease would have been recoverable if the lessee's failure to pay rent had, in the circumstances of that case, constituted repudiation or fundamental breach. The present case is in contrast to Shevill in that, as has been said, the tenant's breach of covenant constituted a fundamental breach of the memorandum of lease.

It follows from the foregoing that, in the circumstances which had arisen, the landlord had both a contractual right to terminate the lease by re-entry under cl 10.1 for breach of covenant and, on the application of the ordinary principles of contract law, a common law right to terminate for fundamental breach. The landlord was not obliged to elect between the two grounds for terminating the lease: it was entitled to rely upon them both. A party entitled to terminate a contract for repudiation or fundamental breach may rely upon both a specific contractual right to terminate the contract and the [56] common law right to terminate unless, as a matter of construction, the former excludes the latter (see, for example, *Rawson v Hobbs* (1961) 107 CLR 466 at 480; *Shepherd v Felt and Textiles of Australia Ltd* (1931) 45 CLR 359 at 377–8 and, generally, the cases referred to in Carter, *Breach of Contract* (1984), paras 914, 1006). More specifically, where a contractual right to terminate for past breach and the common law right to terminate for repudiation or fundamental breach exist concurrently, the reliance upon the contract involved in the exercise of the contractual right to terminate will not preclude the recovery of damages for loss of the future benefit of the contract by reason of repudiation or fundamental breach unless the contract expressly or impliedly so provides: compare *Yeoman Credit Ltd v Waragowski* [1961] 1 WLR 1124. Clause 10.1 of the memorandum of lease in the present case did not preclude the common law right to sue for fundamental breach. To the contrary, it expressly provided that the landlord's exercise of the right of re-entry thereunder would be "without prejudice to any claim which the Lessor may have against the Lessee in respect of any breach of the covenants and provisions in this Lease on the part of the Lessee to be observed or performed". That being so, the exercise by the landlord of the right of re-entry under cl 10.1 did not deprive it of the right to claim damages for the loss of the future benefit of the tenant's covenant to pay rent which it sustained by reason of the tenant's fundamental breach of the provisions of the lease.

The appeal should be dismissed.

[WILSON J and DAWSON J each said that they substantially agreed with the reasons given by Mason J.]

Appeal dismissed.

Instalment contracts

Maple Flock v Universal Furniture Products (Wembley)

[22.60] *Maple Flock Co Ltd v Universal Furniture Products (Wembley) Ltd* [1934] 1 KB 148 – Appeal from du Parcq J.

[FACTS: The *appellant* agreed to sell 100 tons of rag flock to the *respondents* at £15 2s 6d per ton to be delivered at the rate of three loads per week of 1 ton for each load. The appellants warranted that the flock complied with the statutory standard of not more than 30 parts of chlorine per 100,000 parts of flock. After 18 deliveries had been made, it was found that the 16th delivery contained 250 parts of chlorine. The respondents accepted two further instalments and then purported to rescind the contract. The trial judge was of the opinion that the appellants carried on their business in a careful manner, but found for the respondents. The judgment of the Court (Lord Hewart CJ, Lord Wright and Slesser J) was delivered by Lord Hewart CJ.]

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LORD HEWART CJ: [154] We think that on the evidence, and the findings of the learned judge, the true inference of fact is that there was no reasonable probability of any such improper delivery being repeated under the contract.

The decision of this case depends on the true construction and application of s 31(2) of the *Sale of Goods Act 1893*, which is in the following terms:

> Where there is a contract for the sale of goods to be delivered by stated instalments, which are to be separately paid for, and the seller makes defective deliveries in respect of one or more instalments, or the buyer neglects or refuses to take delivery of or pay for one or more instalments, it is a question in each case depending on the terms of the contract and the circumstances of the case, whether the breach of contract is a repudiation of the whole contract or whether it is a severable breach giving rise to a claim for compensation but not to a right to treat the whole contract as repudiated.

That subsection was based on decisions before the Act … A contract for the sale of goods by instalments is a single contract, not a complex of as many contracts as there are instalments under it … [155] The subsection, … which deals equally with breaches either by the buyer or the seller, requires the court to decide on the merits of the particular case what effect, if any, the breach or breaches should have on the contract as a whole.

The language of the Act is substantially based on the language used by Lord Selborne LC in *Mersey Steel and Iron Co v Naylor, Benzon & Co* (1884) 9 App Cas 434, where he said (at 438):

> I am content to take the rule as stated by Lord Coleridge in *Freeth v Burr* (1874) LR 9 CP 208, which is in substance, as I understand it, that you must look at the actual circumstances of the case in order to see whether the one party to the contract is relieved from its future performance by the conduct of the other; you must examine what that conduct is, so as to see whether it amounts to a renunciation, to an absolute refusal to perform the contract, such as would amount to a rescission if he had the power to rescind, and whether the other party may accept it as a reason for not performing his part.

… Lord Selborne in the passage above quoted did not refer to any question of intention, but said that what is to be examined is the conduct of the party. Lord Coleridge in *Freeth v Burr*, on the question of a seller's breach, states thus one aspect of the rule: "Where by the non-delivery of part of the thing contracted for the whole object of the contract is frustrated, the party making default renounces on his part all the obligations of the contract": (1874) LR 9 CP 208 at 214.

In other [156] words, the true test will generally be, not the subjective mental state of the defaulting party, but the objective test of the relation in fact of the default to the whole purpose of the contract.

Since the Act, the subsection has been discussed by a Divisional Court in *Millars' Karri and Jarrah Co (1902) v Weddel Turner & Co* (1909) 14 Com Cas 25 … Bingham J thus stated what in his opinion was the true test (at 29):

> Thus, if the breach is of such a kind, or takes place in such circumstances as reasonably to lead to the inference that similar breaches will be committed in relation to subsequent deliveries, the whole contract may there and then be regarded as repudiated and may be rescinded. If, for instance, a buyer fails to pay for one delivery in such circumstances as to lead to the inference that he will not be able to pay for subsequent deliveries; or if a seller delivers goods differing from the requirements of the contract, and does so in such circumstances as to lead to the inference that he cannot, or will not, deliver any other kind of goods in the future, the other contracting party will be under no obligation to wait to see what may happen; he can at once cancel the contract and rid himself of the difficulty.

With the help of these authorities we deduce that the main tests to be considered in applying the subsection to the present case are, first, the ratio quantitatively which the breach bears to the

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contract as a whole, and secondly the degree of probability or improbability that such a breach will be repeated. On the first point, the delivery complained of amounts to no more than 11/2 tons out of a contract for 100 tons. On the second point, our conclusion is that the chance of the breach being repeated is practically negligible. We assume that the sample found defective fairly represents the bulk; but bearing in mind the judge's finding that the breach was extraordinary and that the appellant's business was carefully conducted, bearing in mind also that the appellants were warned, and bearing in mind that the delivery complained of was an isolated instance out of 20 satisfactory deliveries actually made both before and after the instalment objected to, we hold that it cannot reasonably be inferred that similar breaches would occur in regard to subsequent deliveries.

Appeal allowed.

Repudiation and an erroneous interpretation of the contract

DTR Nominees v Mona Homes

[22.65] *DTR Nominees Pty Ltd v Mona Homes Pty Ltd* (1978) 138 CLR 423 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: Condition 4 of a contract for the sale of land (lots 1–9) stated that a plan of subdivision (which showed a total of 35 lots), a copy of which was annexed to the contract, had been lodged with the municipal council and that DTR, the *vendor*, would proceed with all due despatch to have the "relevant plan of subdivision" lodged for registration as a deposited plan. By condition 8, Mona Homes, the *purchaser*, was not required to complete prior to registration of the plan as a deposited plan. A deposit was payable on the signing of the contract and the balance within 14 days of registration.

The vendor had not in fact lodged as a deposited plan the plan of subdivision to which the contract referred (that is a plan for the subdivision of the 35 lots) but only a plan for the subdivision of the lots 1–9 the subject of the sale. It took the view that under the contract it was entitled to proceed in two stages – to subdivide lots 1–9 and then in the second stage, to subdivide the balance and that in lodging the plan of subdivision of lots 1–9 it complied with the terms of the contract.

The plan relating to lots 1–9, which had been approved by the municipal council before the contract was executed, was registered as a deposited plan on 7 July 1974. The vendor then required settlement within 14 days. On 19 July, the purchaser purported to rescind the contract on the ground that the lodged plan was not the plan referred to in the contract. The vendor, on 25 July, asserted that the purchaser's rescission constituted a wrongful repudiation of the contract, accepted the repudiation, rescinded the contract and retained the deposit. The court held that the vendors were in breach of condition 4 but that the breach in the circumstances did not justify rescission.]

STEPHEN, MASON and JACOBS JJ: [431] Quite apart from this aspect of the matter the purchasers' case as pleaded … was not one of rescission for actual breach of essential term, but one of rescission for repudiation and renunciation for so-called "anticipatory breach" … The relevant question therefore is whether the events which we have recounted evidence an intention on the part of the vendor to repudiate or renounce the contract or more precisely whether such an intention is to be inferred from those events.

For the purchasers it was submitted that such an intention should be inferred from the vendor's continued adherence to an incorrect interpretation of the contract. It was urged that the [432] vendor, because it was acting on an erroneous view, was not willing to perform the contract according to

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its terms. No doubt there are cases in which a party, by insisting on an incorrect interpretation of a contract, evinces an intention that he will not perform the contract according to its terms. But there are other cases in which a party, though asserting a wrong view of a contract because he believes it to be correct, is willing to perform the contract according to its tenor. He may be willing to recognise his heresy once the true doctrine is enunciated or he may be willing to accept an authoritative exposition of the correct interpretation. In either event an intention to repudiate the contract could not be attributed to him …

In this case the vendor acted on its view of the contract without realising that the purchasers were insisting upon a different view until such time as they purported to rescind. It was not a case in which any attempt was made to persuade the vendor of the error of its ways or indeed to give it any opportunity to reconsider its position in the light of an assertion of the correct interpretation. There is therefore no basis on which one can infer that the vendor was persisting in its interpretation willy nilly in the face of a clear enunciation of the true agreement.

Mr Meagher for the purchasers valiantly submitted that the vendor did not bona fide believe that the contract was to be interpreted as authorising the two-stage subdivision which it implemented … We cannot accept that … after all, the primary judge, mistaken though he was, thought that this was the correct view of the contract … Consequently it is a case of a bona fide dispute as to the true construction of a contract expressed in terms which are by no means clear … [433] In these circumstances the court is not justified in drawing an inference that the vendor intended not to perform the contract according to its terms or that it repudiated the contract. That being so, the purchasers were not entitled to rescind the contract for "anticipatory breach" as they purported to do by their notice of 19 July 1974. But the question remains whether the vendor was entitled to rely on this ineffective rescission of the contract by the purchasers as itself a repudiation of the contract and thereupon to rescind as it purported to do by its letter of 25 July … In our opinion the vendor could not rely on the purchasers' purported rescission as a repudiation. The purchasers purported to rescind only upon the basis that the vendor would not complete the contract as correctly interpreted. They were in error in regarding themselves as entitled to rescind at the stage when they purported to do so but they were not in error in their interpretation of the contract. The actions of the parties must now be considered in the light of the true interpretation of the contract. The purported rescission of 19 July did not evince an intention not to proceed with the contract correctly interpreted; it did no more than evince an intention not to proceed with the contract on the basis of the incorrect interpretation then being advanced by the vendor. That cannot be regarded as a repudiation which would entitle the vendor to rescind when it was itself the party in error. A party in order to be entitled to rescind for anticipatory breach must at the time of rescission himself be willing to perform the contract on its proper interpretation. Otherwise he is not an innocent party, the common description of a party entitled to rescind for anticipatory breach, and indeed could profit from his misinterpretation of the contract, as the vendor seeks to do in this case when it claims forfeiture of the deposit and damages. By insisting on its incorrect interpretation of the contract to the point of claiming to rescind because the purchasers were relying on the different but correct interpretation, the vendor by that stage showed that "definitive resolve or decision against doing in the future what the contract" [required,] which is referred to by Dixon CJ in *Rawson v Hobbs* (1961) 107 CLR 466 at 481. Whether or not the purchasers could by then have rescinded certainly the vendor could not do so.

The vendor never accepted that the contract be performed [434] according to its correct interpretation …

Thus the contract in the present case was still on foot on and after 25 July 1974. Neither party had effectively rescinded. But there can be no doubt that by 5 December 1974, when these proceedings were commenced, neither party, whatever may have been their reasons, regarded the contract as being still on foot. Neither party intended that the contract should be further performed. In these circumstances the parties must be regarded as having so conducted themselves as to abandon or abrogate the contract. The position is similar to that with which Isaacs J dealt in *Summers v The*

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Commonwealth (1918) 25 CLR 144. The plaintiff did not succeed in his action for damages for breach of contract, but on the other hand the defendant had not rescinded. Time passed during which neither party took any steps to perform the contract. It was held that the parties had so conducted themselves as mutually to abandon or abrogate the contract …

[AITKIN J agreed. MURPHY J dissented.]

Woodar Investment Development v Wimpey Construction (UK)

[22.70] *Woodar Investment Development Ltd v Wimpey Construction (UK) Ltd* [1980] 1 WLR 277 (House of Lords).

LORD SALMON (dissenting): [287] I do not understand how Wimpey's honest belief in a bad point of law can in any way assist them. In *Federal Commerce & Navigation Co Ltd v Molena Alpha Inc* [1978] QB 927 at 979, Lord Denning said:

> I have yet to learn that a party who breaks a contract can excuse himself by saying that he did it on the advice of his lawyers: or that he was under an honest misapprehension. Nor can he excuse himself on those grounds from the consequences of a repudiation. I gratefully adopt that passage …

[288] The fact that a party to a contract mistakenly believed that he has the right to refuse to perform it cannot avail him. Nor is there any authority for the proposition that if a party to a contract totally refuses to perform it, this refusal is any the less a repudiation of the contract because he honestly but mistakenly believes that he is entitled by a condition of the contract to refuse to perform it.

It would indeed be unfortunate if the law were otherwise … It is acknowledged in this case that the mistake was an honest one. If, however, a case arose in which a mistake of this kind was alleged to be an honest mistake, but not acknowledged to be so, it would be extremely difficult, if not impossible, to prove the contrary.

[22.75] Notes

On this issue, see also *Vaswani v Italian Motors Ltd* [1996] 1 WLR 270.

CHAPTER ***23***

Termination for delay

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WHY A SEPARATE ANALYSIS?

[23.05] Generally a breach that takes the form of a delay in performance will give rise to a right to terminate in the same circumstances as any other breach. However, termination for delay has traditionally warranted a separate discussion, due partly to some special terminology employed by the courts.

AT WHAT TIME IS PERFORMANCE REQUIRED?

[23.10] A contract will commonly specify a time by which the obligations in the contract are to be performed. Where no time is specified for performance, the law implies an obligation to perform within a reasonable time.

WHERE TIME IS OF THE ESSENCE

[23.15] A time stipulation that has the status of a condition is usually described as *essential* and time is said to be *of the essence*. Accordingly, failure by one party to tender performance by the appropriate time means that the other party (the *aggrieved party*) has the option of electing to terminate the contract.

When is time of the essence?

[23.20] The parties may expressly agree that time is to be essential in relation to some or all of the obligations in their contract. The most common formulation is a statement that *time is to be of the essence*. Historically, in the absence of express designation, the common law and equity took different approaches to time stipulations. The common law regarded time stipulations in contracts for the sale of land as of the essence. Equity did not assume that a time stipulation was of the essence. It looked to the substance of the matter. If, in a particular case, it was of the view that time was not in reality of the essence, and the party in breach was not otherwise disentitled to a decree, equity would prevent the exercise of the aggrieved party's common law right to terminate and order specific performance. If, however, equity was of the view that time should be regarded as of the essence, either because the parties had so expressly provided, or because of the nature of the subject matter or other circumstances

of the case, it would decline to intervene and leave the parties to their common law rights. In contracts relating to land where the contract did not expressly make time of the essence, there was an equitable presumption in favour of the non-essentiality of time stipulations.

The equitable approach to time stipulations now prevails. Section 25(7) of the *Judicature Act 1873* (Eng) provided:

> Stipulations in contracts, as to time or otherwise which would not before the passing of this Act have been deemed to be or to have become of the essence of such contracts in a Court of Equity, shall receive in all Courts the same construction and effect as they would have heretofore received in equity.

Corresponding provisions have been enacted in Australia: *Civil Law (Property) Act 2006* (ACT), s 501; *Conveyancing Act 1919* (NSW), s 13; *Law of Property Act* (NT), s 65; *Property Law Act 1974* (Qld), s 62; *Law of Property Act 1936* (SA), s 16; *Supreme Court Civil Procedure Act 1932* (Tas), s 11(7); *Property Law Act 1958* (Vic), s 41; *Property Law Act 1969* (WA), s 21. Accordingly, in the absence of express stipulation by the parties, whether or not time is of the essence is a matter of construction of the contract in question. See also *Louinder v Leis* (1982) 149 CLR 509 (extracted at [23.35]).

WHERE TIME IS NOT OF THE ESSENCE

[23.25] Where time is not of the essence, failure by one party to perform on time, while giving rise to damages for breach of contract, does not of itself give rise to a right of the aggrieved party to terminate. A right to terminate will be available should the delay continue so long or in such circumstances as to amount to repudiation and, possibly, for a serious breach of an innominate term, see *Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd* (1989) 166 CLR 623 (extracted at [23.45]). Alternatively, the law of contract recognises a notice procedure that will allow an aggrieved party to terminate a contract for breach of a non-essential time stipulation.

NOTICE

[23.30] Where one party to the contract is in breach of a time stipulation but time is not of the essence in relation to that obligation, the aggrieved party may nonetheless gain a right to terminate for the delay through use of a notice procedure. The notice must set a reasonable time for performance of the obligation. If the party in breach does not perform the obligation in question within the reasonable time specified in the notice, the aggrieved party may immediately terminate the contract: see *Louinder v Leis* (1982) 149 CLR 509 (extracted at [23.35]). A valid notice to perform a contract or contractual obligation must satisfy three requirements:

1. the notice must specify a time for performance;
2. the time allowed must be reasonable; and
3. the notice must clearly convey that either the time fixed for performance is of the essence, or that the party giving the notice will regard herself or himself as being entitled to terminate should the notice not be complied with.

In addition, the party issuing the notice must be ready – that is, able – and willing to perform his or her contractual obligations at the time the notice is issued (on the readiness and willingness

requirement, see further Chapter 25). Not all breaches prevent a party from issuing a notice to complete. Breach of inessential obligations that could easily sound in damages will not preclude the giving of a notice to complete.

The use of the notice procedure and the requirements for a valid notice are illustrated in *Louinder v Leis* (1982) 149 CLR 509 (extracted at [23.35]) and *Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd* (1989) 166 CLR 623 (extracted at [23.45]).

Louinder v Leis

[23.35] *Louinder v Leis* (1982) 149 CLR 509 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: By a contract dated 1 November 1979, Louinder, the *vendor/appellant* sold property to Leis, the *purchaser/respondent*. No date was fixed for completion and time was not stated to be of the essence. Under cl 4, the purchaser was to tender a transfer to the vendor for execution within 28 days of receipt of the vendor's statement of title. The statement was delivered on 2 November 1979. The parties agreed to settle in January 1980, but in late January or early February the vendor sought a delay in settlement for three months. The purchaser agreed but was then informed that the vendor required settlement within a week.

On 8 February, no tender of a transfer having been made by the purchaser, the vendor issued a notice to complete within 21 days. On 4 March, the vendor terminated the contract on the ground that the notice had not been complied with. On 14 April, the purchasers sought an appointment to complete but were informed that the contract had been terminated. The purchaser then sued for specific performance and the vendor claimed a declaration that the contract had been validly terminated. Helsham CJ in Equity, issued a decree for specific performance and refused the declaration. Before Helsham CJ in Equity, the purchaser's failure to comply with cl 4 was not relied on, and the Court of Appeal refused to allow it to be raised on the vendor's appeal, which it dismissed. The vendor appealed to the High Court.]

GIBBS CJ: [512] Since the facts concerning the failure to comply with cl 4 were not examined at first instance … the Court of Appeal was correct in holding that it was not open to the appellant to take this point for the first time on appeal.

It is common ground that if it was not open to the appellant to rely on a breach by the respondent of cl 4, the appellant was not entitled to give the notice requiring completion of the contract unless the respondent had been guilty of unreasonable delay. In the circumstances of the case … it is impossible to conclude that the delay on the part of the respondent was unreasonable.

What I have said is enough to dispose of the case, but the parties have directed argument to the question whether, if the appellant had been able to establish that the respondent was in breach of cl 4, it would have been open to the appellant to give a notice to complete, and since that question appears to be an important one from a practical point of view, it appears appropriate to deal with it. There is no doubt that where a contract contains a promise to do a particular thing on or before a specified day, and time is not of the essence of the promise, the promisee can, generally speaking, only rescind for non-performance on that day if he has given a notice requiring performance within a specified reasonable time and there has been a failure to comply with that notice: *Carr v J A Berriman Pty Ltd* (1953) 89 CLR 327 at 348–9; *Balog v Crestani* (1975) 132 CLR 289 at 296. The question which arises is whether it is enough to enable the party not in default to give a notice that the other party is in breach of the contract or whether, as some text writers suggest, the notice can only be given to a party who has been guilty of unreasonable delay. The authorities which support the latter view are mainly based on the decision of [513] Harman J in *Smith v Hamilton* [1951] Ch 174. In that case the day for completion of the contract was 4 April, and it was held that the vendor could not, on 5 April, serve a notice on the purchaser "on the footing that there has been such impropriety on the part of the purchaser as entitles him, as it were, to engraft time on the contract" (at 181). Harman J particularly relied on *Green v Sevin* (1879) 13 Ch D 589 at 599, where Fry J said:

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> What right then had one party to limit a particular time within which an act was to be done by the other? It appears to me that he had no right so to do, unless there had been such delay on the part of the other contracting party as to render it fair that, if steps were not immediately taken to complete, the person giving the notice should be relieved from his contract.

Fry J was there dealing with a case in which no time had been fixed by the contract for completion of the contract, as he himself pointed out immediately before the passage which Harman J cited. It appears from the examination of the authorities by Wootten J in *Winchcombe Carson Trustee Co v Ball-Rand* [1974] 1 NSWLR 477 that the cases before *Smith v Hamilton* were cases in which no time for completion had been fixed by the contract, or in which a time originally fixed had been waived. Further, the judgment of Harman J contains what has since been demonstrated to be an error of principle …

Both before and after *Smith v Hamilton* it was said in a number of cases that a clause providing for completion on a fixed date should, when time was not of the essence of the contract, be construed as meaning that completion could take place within a reasonable period after the date fixed. It has been convincingly shown by the House of Lords in *Raineri v Miles* [1981] AC 1050 that this view was erroneous. It was there held that the breach of a contractual provision as to time which was not of the essence of the contract was a breach of the contract and entitled the injured party to damages, notwithstanding that the rules of equity would relieve the party in breach to the extent of allowing him to obtain specific performance. Once one rejects the notion that a clause providing for completion on a specified day means that completion may take place within a [514] reasonable time thereafter, it is apparent that a party who fails to complete on the specified day is guilty of delay, within the meaning of the contract, whether or not the delay would, in the absence of the provision fixing the time, be regarded as unreasonable. In principle, it seems to me that such delay entitles the innocent party to treat the contract as at an end provided that, if time is not of the essence of the contract, he first gives a reasonable notice which is not complied with. I therefore respectfully agree with the statement in *Neeta (Epping) Pty Ltd v Phillips* (1974) 131 CLR 286 at 299 that where a contract of sale of land contains a stipulation as to time which is not of the essence of the contract, and one party is in breach or guilty of unreasonable delay, the party not in default may give a notice fixing a reasonable time for completion and making that time the essence of the contract. In my opinion this case laid down no new principle, in spite of the body of opinion to the contrary. The judgment of Fullagar J in *Carr v J A Berriman Pty Ltd* is in my opinion consistent with this view. In his clear statement of principle, Fullagar J ((1953) 89 CLR 327 at 348–9) did not suggest that, where there was a failure to perform on a specified day, it was necessary that there should in addition have been unreasonable delay before the party not in default became entitled to give a notice.

Assuming that the appellant had not waived cl 4, he would have been entitled to give the respondent a notice requiring him to tender a transfer within a reasonable time, and notifying him that the contract would be treated as at an end if the notice was not complied with. However, he would not have been entitled to give a notice requiring the respondent to complete the contract. Default in compliance with a covenant which fixes a time for performance of that covenant, when time is not of the essence, entitles the innocent party to make time of the essence and fix a reasonable time for performance of that covenant. If such a notice is not complied with, the party who gave the notice may rescind. However, mere breach of one contractual provision does not enable the injured party to rewrite another. Of course, the circumstances of the breach might be such as to show that there was unreasonable delay in completion, and that would justify giving a notice to complete. In the present case, where there was no unreasonable delay, the breach of cl 4 would have entitled the applicant to make time of the essence and limit a time for tender of the transfer, but it would not have entitled him to give a notice to complete. Even if this point had been open, the appellant would have failed.

The appeal should be dismissed.

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[23.40] MASON J: [519] The Court of Appeal was right in refusing leave to allow the cl 4 point to be argued … But as the question sought to be raised is of particular importance in New South Wales, where it has been common practice to enter into contracts which do not fix a date for completion, we should deal with it. At the outset we need to keep in mind (a) the difference between a contract which does not fix a time for completion and one which does, though not making time of the essence; and (b) the difference between breach of an obligation to complete the contract on a stipulated date or within a reasonable time, as the case may be, and a breach of some other obligation imposed by the contract, for example cl 4 of the instant contract. The entitlement to give notice having the effect of making time of the essence varies in these situations.

A discussion of the topic necessarily demands some mention of the difference in attitude of the common law and equity to time stipulations in contracts. The date for completion is a term of the contract, breach of which would at common law entitle the innocent party to determine the contract and recover damages. If, however, [520] the parties did not make time of the essence of the contract, equity would order specific performance, unless to do so would be unjust, and would prevent the innocent party from enforcing his common law rights: *Canning v Temby* (1905) 3 CLR 419, 426. By reason of the approach taken by equity a practice developed whereby an innocent party, after default by the other party, gave notice requiring completion of the contract within a reasonable specified time, thereby seeking to establish, if the notice was not complied with, that there had been such delay as to disentitle the party at fault from specific performance and to justify rescission of the contract. This practice, in its application to an open contract, was indorsed in *Green v Sevin* (1879) 13 Ch D 589. The contract in *Green v Sevin* was an open contract. Under such a contract, Fry J pointed out, the purchaser was entitled to a reasonable time for performing his contract. His Lordship denied that one party had a right to limit the time for the doing of an act, independently of delay on the part of the other party, saying: "It appears to me that he had no right so to do, unless there had been such delay on the part of the other contracting party as to render it fair that, if steps were not immediately taken to complete, the person giving the notice should be relieved from his contract."

Fry J accepted that one party cannot remake the contract by unilaterally making time of the essence when consensually it is not so and went on to say: "There must have been such improper conduct on the part of the other as to justify the rescission of the contract sub modo, that is, if a reasonable notice be not complied with."

There is, I think, nothing in the judgment or in the earlier authorities which it examines to support the view that his Lordship was asserting that in the case of a contract fixing a date for completion unreasonable delay justifying rescission, rather than mere delay in completing on the stipulated date, was an essential qualification of the innocent party's right to give a notice.

Until *Smith v Hamilton* there seems to have been no judicial authority for the proposition that an innocent party could not give a notice to complete a contract specifying a date for completion, time not being of the essence, unless the other party was guilty of unreasonable delay, as distinct from mere failure to complete on the date fixed …

[Mason J then examined *Smith v Hamilton* and other cases and continued:] [523] A more liberal approach was taken by Barwick CJ and Jacobs J in their joint judgment in *Neeta (Epping) Pty Ltd v Phillips* (at 299), when they said:

> In cases where the contract contains a stipulation as to time but that stipulation is not an essential term then before a notice can be given fixing a time for performance, not only must one party be in breach or guilty of unreasonable delay, but also the party giving the notice must himself be free of default by way of breach or antecedent relevant delay. Only then may a notice be given fixing a day a reasonable time ahead for performance and making that time of the essence of the contract.

The reference to "breach" or "unreasonable delay" is explained by the circumstance that the passage is directed to stipulations as to time generally, viz those which stipulate a date and those which call for

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performance within a reasonable time. The reference to "breach" applies to the former, "unreasonable delay" to the latter, and to the former where there has been a waiver of the breach or the innocent party is disentitled to rely on it.

Their Honours pointed out that in relation to the giving of notice three questions arise:

(1) Was the other party "in breach of any term of the contract or guilty of unreasonable delay?"

(2) Was the innocent party in "breach of any term of the contract or guilty of any antecedent relevant delay?"

(3) Was the time fixed reasonable in all the circumstances?

What did their Honours intend by their expression "in breach of any term of the contract"? Did they have in mind "a mere breach of contract" or "a serious breach of contract"? Since *Neeta (Epping)* this question has been much debated. To me it seems that their Honours meant what they said and that they had in mind a breach of contract, whether serious or slight.

This is the view which Wootten J in *Winchcombe Carson Trustee Co Ltd v Ball-Rand Pty Ltd* took of the remarks made in *Neeta (Epping)*. His Honour followed the view expressed by Barwick CJ and Jacobs J and declined to follow *Smith v Hamilton* distinguishing *Green v Sevin* on the ground that it related to an open contract. After an illuminating review of the authorities his Honour concluded that *Smith v Hamilton* did not correctly state the law and that the principle expressed in *Neeta* [524] *(Epping)* provided a more "certain framework for the conduct of conveyancing business".

In my view Barwick CJ and Jacobs J were right in saying that a mere failure to comply with a non-essential stipulation as to time justifies the giving of a notice having the effect of making time the essence of performance of that stipulation, even though the failure to comply does not involve an unreasonable delay. The non-essential stipulation as to time is a term of the contract enforceable by an action for damages and it is the breach of this term that justifies the giving of the notice.

By virtue of s 13 of the *Conveyancing Act 1919* (NSW) stipulations in contracts as to time which would not have been of the essence of such contracts in a court of equity "shall receive in all courts the same construction and effect as they would have heretofore received in such court". There has been an element of uncertainty affecting the operation of s 13 arising from the longstanding controversy as to the true principle underlying equity's attitude to time stipulations. In *Seton v Slade* (1802) 7 Ves Jun 265; 32 ER 108, Lord Eldon offered two alternative explanations. The first is that equity construes the contract differently by treating the time stipulation as formal only so that it is satisfied by compliance within a reasonable time. The second is that equity exercises a jurisdiction similar to relief against forfeitures and penalties, construing the contract as it would be construed at common law, but restraining the parties from an unconscionable exercise of their legal rights. The true position is that equity and common law differed not so much in the construction of the contract as in the consequences which they assigned to a breach of it. As Lord Cairns LJ said in *Tilley v Thomas* (1867) LR 3 Ch App 61 at 67: "The legal construction of the contract … is, and must be, in equity the same as in a Court of law." See also Rolt LJ. To the same effect are the speeches of Lord Atkinson and Lord Parker of Waddington in *Stickney v Keeble* [1915] AC 386, 402, 417, Lord Parker pointing out "that it was only for the purposes of granting specific performance that equity in this class of case interfered with the remedy at law" (at 416). Equity departed from the common law in insisting that a breach of a stipulation as to time only entitled the innocent party to rescind where time was of the essence of the contract. It was otherwise at common law. Consequently equity would intervene in appropriate cases to prevent the innocent party from enforcing his common law right to rescind and to assert her [525] own rule. It follows that in such cases the operation of s 13 converts the character of a time stipulation from essential to non-essential; it does not otherwise alter its terms or its construction. Thus the time stipulation is not read as if it called for performance by the stipulated date or "within a reasonable time" or "within a reasonable time thereafter". In this respect I agree with the recent decision of the House of Lords in *Raineri v Miles* [1981] AC 1050 and that of the New South Wales Court of Appeal in *McNally v Waitzer* [1981] 1 NSWLR 294. I reject the view of Harman J

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in *Smith v Hamilton* and the earlier comment of Maugham J in *In Re Sandwell Park Colliery Co; Field v The Company* [1929] 1 Ch 277,282, that "a clause fixing the date for completion is equivalent to a clause stating that completion shall be on that date or within a reasonable time thereafter", notwithstanding subsequent indications of support for the view to be found in [a number of cases] … Lord Diplock and Lord Simon of Glaisdale in *United Scientific Holdings Ltd v Burnley Borough Council* examined the legislative ancestors and relatives of s 13 and the observations of Lord Parker of Waddington in *Stickney v Keeble* [1915] AC at 416. Referring to the approach of the Court of Chancery Lord Diplock said ([1978] AC at 928): [526]

> Once the time had elapsed that was specified for the performance of an act in a stipulation as to time which was not of the essence of the contract, the party entitled to performance could give to the other party notice calling for performance within a specified period: and provided that the period was considered by the court to be reasonable, the notice had the effect of making it of the essence of the contract that performance should take place within that period.

Lord Simon expressed the matter rather differently …

For reasons already given I regard Lord Diplock's statement as correct. It accords with *Neeta (Epping)* and *Raineri v Miles*.

Accordingly, delay beyond the stipulated date will give rise to a liability in damages. But because equity treats the time stipulation as non-essential, mere breach of it does not justify rescission by the innocent party and will not bar specific performance at the suit of the party in default. Unreasonable delay in complying with the stipulation in substance amounting to a repudiation is essential to justify rescission. It is to this end that, following breach, the innocent party gives notice fixing a reasonable time for performance of the relevant contractual obligation. The result of non-compliance with the notice is that the party in default is guilty of unreasonable delay in complying with a non-essential time stipulation. The unreasonable delay amounts to a repudiation and this justifies rescission.

If the *Smith v Hamilton* view were to prevail and unreasonable delay were required to precede the giving of a notice one is then driven to ask "What is the point of insisting on the giving of a notice [527] which itself is required to fix a reasonable time for performance?" The consequence would be to defer the innocent party's right to rescind until such time as the other party has delayed for two periods, each one of which constitutes an unreasonable delay. This solution to the problem unnecessarily protects the party at fault at the expense of the innocent party. The *Neeta (Epping)* solution is more just; it enables one party to initiate the action once the other party is in breach. And it provides a little more certainty in determining when a notice may be given.

This solution is not unfair to the party who is guilty of a mere breach of contract. He is entitled to a notice which fixes a reasonable time in all the circumstances and those circumstances will include the fact that he has not been guilty of a serious breach of contract or of unreasonable or gross delay.

There is nothing in all this to deny the correctness of the *Green v Sevin* principle in its application to open contracts. There the existence of unreasonable delay, this being the relevant breach of contract, is an essential qualification for the giving of a notice. In this case because the notice itself must allow a reasonable time for completion, the party at fault, having been guilty of unreasonable delay, is entitled to a further period, being a reasonable time for completion. Because the initial period of delay is no more than a breach of a non-essential time stipulation, without more it cannot found an inference of repudiation.

One question which the joint judgment in *Neeta (Epping)* leaves unresolved is whether a notice to complete the contract can be given when the relevant breach of contract justifying the giving of a notice is not a breach of an obligation to complete but a breach of another term of the contract. In principle breach of a non-essential term justifies the giving of a notice fixing a reasonable time

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for the performance of that term. Generally speaking it does not entitle the innocent party to give notice fixing a time for completion of the contract. There are of course exceptions to this rule. Sometimes a contract will contain a condition which requires to be performed on or before the date of completion. Unreasonable delay or default in complying with the condition may then amount to delay or default in completion justifying the giving of a notice to complete. At other times the delay or default in complying with a particular provision may be so inordinate as to justify the innocent party in fixing a reasonable time for completion, as, for example, when non-compliance with the particular provision has the practical effect of making it impossible to complete within the time stipulated or contemplated by the contract. It was such a situation that Barwick CJ and Jacobs J had in mind in *Neeta (Epping)* when, speaking of [528] the purchaser's failure to send to the vendor a transfer within twenty eight days of the giving of particulars of title, they said: "Not only was this a breach but it involved a long delay which cannot be explained by the course of events at the office of the Commissioner of Stamp Duties. If it stood alone it would entitle the vendor to give a notice to complete." …

Thus, the general rule that a breach of a non-essential term entitles the innocent party to give a notice having the effect of making time of the essence in respect of that term is qualified so as to permit the giving of a notice having the effect of making time of the essence of the contract in respect of completion when the breach of the particular stipulation amounts to a breach of the obligation to complete or has the practical effect of making it impossible to complete the contract within the time stipulated or contemplated by the contract.

One final point should be mentioned. In *Carr v JA Berriman Pty Ltd*, Fullagar J (with whose judgment all the other members of the court concurred) said (at 348–9):

> If either (a) time is not originally of the essence, or (b) time being originally of the essence, the right to rescind for non-performance on the day is lost by election, the promisee can, generally speaking, only rescind after he has given a notice requiring performance within a specified reasonable time and after non-compliance with that notice.

This passage was referred to with evident approval by Gibbs J (with whom Jacobs J agreed) in *Balog v Crestani* at 296. Mahoney JA in his judgment in *Perri v Coolangatta Investments Pty Ltd* (Supreme Court of NSW (Court of Appeal); Unreported; 5 August 1981), expressed the view that the proposition enunciated by Fullagar J is not one of universal application for the reason that rescission for breach of a non-essential term is only justified when the breach [529] amounts to a repudiation of the contract or a fundamental breach. It is apparent from the language used by Fullagar J that he was not intending to express a proposition of universal application. Certainly, as Mahoney JA recognised, what his Honour said applies to the completion of a contract for the sale of land. And there is no reason to think that it does not apply to provisions in a contract for the sale of land that are to be fulfilled within a reasonable time when those provisions constitute an essential step in the process of completion of the contract.

In the event the appeal fails. There was no foundation for the vendors giving a notice to complete on 8 February 1980 as the contract did not fix a time for completion. The existence of unreasonable delay on the part of the purchaser was an essential qualification for the giving of a notice. The findings of fact made by the primary judge negated the existence of such delay.

I would dismiss the appeal.

[STEPHEN and WILSON JJ agreed with Mason J. BRENNAN J discussed the theory of the operation of notices to complete. His discussion is largely repeated in his judgment extracted in *Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd* at [23.45].]

Appeal dismissed.

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[23.45] *Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd* (1989) 166 CLR 623 (High Court of Australia) – Appeal from the Supreme Court of Queensland, Full Court.

[FACTS: On 31 October 1985, *Capalaba*, the *lessor*, and *Laurinda*, the *lessee*, entered into an agreement (as a deed) for the grant of a lease of a shop forming part of a retail centre being constructed by Capalaba, for the period and on the terms set out in a form of lease annexed to the agreement. The form of lease stated the period of the lease to be six years, but certain other matters including the commencement date were left blank. The deed made provision for ascertaining the commencement date which, in the event, was 1 December 1985. The lessor was entitled to complete the other blanks in the form of lease. Capalaba and Laurinda executed the form of lease on or about the date of the deed.

On 3 December 1985, Laurinda went into possession of the shop and, in January 1986, paid to Capalaba (as it was bound to do under the deed) $2,317 being costs of stamping, and incidental to the preparation of, the lease. On 14 March 1986, Laurinda's accountants asked Capalaba's solicitors to forward a copy of the lease at the earliest opportunity. On 25 March 1986, Capalaba's solicitors advised that in October 1985 the lease had been sent to Melbourne for execution by Capalaba and it was expected "in the near future". By April 1986, Capalaba was aware that Laurinda was seeking to sell its business. On 21 August 1986, Laurinda's solicitors wrote to Capalaba's solicitors. After pointing out that the lease should have been registered some ten months previously, that Laurinda had already provided funds for its registration, and the importance to Laurinda of having the lease registered, the letter continued:

> In such circumstances, and in view of the unexplained and lengthy delay, it appears reasonable that our clients require your client to complete registration within 14 days from the date hereof. If registration is not completed within that time then our clients naturally reserve their rights in respect of your client's default.

This letter was received the next day. On 3 September 1986, Capalaba's solicitors replied that they had referred the letter to Capalaba for instructions.

On 5 September 1986, Laurinda terminated the agreement on the ground that Capalaba had repudiated the agreement or was in breach of essential terms of the agreement as a result of Capalaba's failure to register the lease or deliver a lease in registrable form. On 3 October 1986, Capalaba re-entered the premises.

On 31 October 1986, Laurinda commenced an action for a declaration that the lease had been validly rescinded, recovery of the $2,317 and damages and interest. Capalaba denied that it had been guilty of any unreasonable delay in completing the transaction, contended that Laurinda's purported termination was a wrongful repudiation, and claimed unpaid rent, damages and interest.

At the trial, Connolly J held that the letter of 21 August was not an effective notice to complete, but that the agreement for the lease had been validly terminated by Laurinda for Capalaba's repudiation. The Full Court, on appeal, held that it had not. Laurinda appealed to the High Court.]

MASON CJ: [633] The appellants' principal submission is that Capalaba's conduct amounted to a repudiation of the agreement entitling Laurinda to treat the agreement as at an end. The appellants submit that Connolly J was correct in holding that Capalaba's failure to procure registration or deliver a registrable lease demonstrated that Capalaba was not prepared to carry out its part of the agreement until it suited it.

It is evident that Connolly J, in reaching his conclusion upon this point, had in mind the observations of Fullagar J in *Carr v J A Berriman Pty Ltd* (1953) 89 CLR 327 where his Honour said with reference to the facts of that case (at 351):

> It is in this state of affairs that the building owner announces that he has engaged another contractor to carry out a large part of the work comprised in the contract. A reasonable man could hardly draw any other inference than that the building owner does not intend to take

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> the contract seriously, that he is prepared to carry out his part of the contract only if and when it suits him.

Fullagar J went on to say (at 351–2) that the intention evinced was "an intention not to be bound by the contract" and that, upon that intention being shown to exist, the other party was entitled to treat the contract as at an end. What his Honour said in this respect accords with later statements upon the topic by members of this [634] Court … There is a difference between evincing an intention to carry out a contract *only* if and when it suits the party to do so and evincing an intention to carry out a contract as and when it suits the party to do so. In the first case the party intends not to carry out the contract at all in the event that it does not suit him. In the second case the party intends to carry out the contract, but only to carry it out as and when it suits him. It is much easier to say of the first than of the second case that the party has evinced an intention no longer to be bound by the contract or to fulfil it only in a manner substantially inconsistent with his obligations and not in any other way. But the outcome in the second case will depend upon its particular circumstances, including the terms of the contract. In some situations the intention to carry out the contract as and when it suits the party may be taken to such lengths that it amounts to an intention to fulfil the contract only in a manner substantially inconsistent with the party's obligations and not in any other way …

[Mason CJ reviewed the correspondence between the parties and continued as follows:] [636] If for the moment we put to one side the question whether the letter of 21 August 1986 validly fixed a time for registration of the lease, this correspondence demonstrates an attitude on the part of Capalaba which was not only dilatory but also cavalier and recalcitrant. Capalaba was remiss in failing to respond in a more positive way to the appellants' requests, especially after the letter of 21 August. More than that, Capalaba's solicitors had on two occasions made incorrect statements about the progress of the matter. There was the incorrect statement in the letter of 28 November 1985 that the lease had been executed and would be sent "shortly". Then there was the statement in the letter of 25 March 1986 that the lease documents would be returned by Capalaba to its solicitors "in the not too distant future" and that the stamped parts of its documents would be provided to Laurinda "as soon as we are able to". Moreover, in the face of the letter of 21 August 1986, Capalaba's solicitors only say on 3 September that they have referred the letter for instructions. And this correspondence needs to be read in the light of Capalaba's failure to take steps to obtain the mortgagee's consent to the lease, to complete the lease in accordance with cl 6.2 and to make arrangements for stamping the lease. Although the matter is finely balanced, the unjustified delay on the part of Capalaba between March and 3 September 1986, accompanied by incorrect statements and unfulfilled assurances sustained the inference of repudiation drawn by Connolly J. Based on Capalaba's unwillingness to deliver a registrable lease to Laurinda, it seems to me that Capalaba's intention was only to perform the contract in a manner substantially inconsistent with its [637] obligations, such as would allow Laurinda to treat Capalaba as having repudiated the contract.

The Full Court appears to have reached the opposite conclusion on the footing that the case against Capalaba amounted to no more than a case of delay and that mere delay is never a sufficient foundation for inferring an intention to repudiate. Whether the statement that mere delay can never support an inference of intention to repudiate can be sustained as a universal proposition may be put to one side because cl 15.7 specifically deals with the situation in this case. However, the short answer to the approach taken by the Full Court is that the circumstances, as I have outlined, amount to more than a case of mere delay. Capalaba's delay was accompanied, as Connolly J found, by an intention not to complete the contract until it suited it.

Although my conclusion on the issue of repudiation makes it unnecessary to deal with the appellants' submission that the letter of 21 August validly fixed a time within which Capalaba was bound to complete the agreement by registering the lease, it is as well that I should deal with the question in view of its general importance. Capalaba does not now dispute that there had been unreasonable or unnecessary delay on its part in completing the agreement before 21 August 1986 such as would entitle Laurinda to give notice to complete, fixing a reasonable time within which completion was

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to take place: see *Louinder v Leis* (1982) 149 CLR 509; *Green v Sevin* (1879) 13 Ch D 589; *Smith v Hamilton* [1951] Ch 174. But Capalaba submits that the notice given on 21 August was defective because it failed to notify Capalaba that in the event of non-compliance the appellants would treat the agreement as at an end and because the time limited for completion was not reasonable. The first point, found against the appellants by the Full Court and Connolly J, was discussed by Gibbs J in *Balog v Crestani* (1975) 132 CLR 289, 296–300. There his Honour pointed out (at 296) that the authorities that relate to contracts for the sale of land: "… very strongly suggest, even if few of them actually decide, that to be effective the notice requiring performance must inform the party to whom it is given that the party giving it will treat the contract as at an end if the notice is not complied with."

Later his Honour went on to say (at 298):

> Today, when adherence to form is not generally much [638] esteemed, it may be thought that it ought to be enough that a party requires performance within a specified reasonable time, and indicates that he will rely on his rights if the other party fails to comply with his requirement, although a prudent solicitor may prefer to use the accepted formula rather than face the prospect of litigation.

For my part I agree with the suggestion made by Gibbs J that it is not necessary that the notice should state that the party will treat the contract as at an end in the event of non-compliance with the requirement stated in the notice and that it is sufficient if the notice indicates that the party giving it may choose to rely on his rights in that event. However, the notice must convey a definite and specific intent to require strict compliance with the terms of the contract within a reasonable time, so that the recipient will be made aware that the party giving the notice may elect to treat the contract as at an end at the conclusion of such reasonable time unless compliance is forthcoming. In the present case Capalaba was aware that Laurinda wished to dispose of its business and regarded the matter as urgent. The surrounding circumstances were not only sufficient to found an inference of repudiation by Capalaba in the face of the demands of Laurinda; they are also clearly capable of demonstrating that, given the expiry of a reasonable period, Laurinda would regard the contract as at an end. In these circumstances, it can scarcely be suggested that the notice did not alert Capalaba to the possibility that non-compliance might result in termination of the contract. Accordingly, I would not hold that the notice given on 21 August was ineffective on this ground.

I turn now to the question whether the time limited by the notice was reasonable. The time limited was thirteen days because the notice was not received until 22 August. In judging whether the time allowed was reasonable the Court must consider all the circumstances of the case, including any unnecessary delay on the part of the party to whom the notice is given before it is given: *Stickney v Keeble* [1915] AC 386. There Lord Parker of Waddington observed (at 419):

> In considering whether the time so limited is a reasonable time the Court will consider all the circumstances of the case. No doubt what remains to be done at the date of the notice is of importance, but it is by no means the only relevant fact. The fact that the purchaser has continually been pressing for completion, or has before given similar notices which he has waived, or that it is specially important to him to obtain early completion, are equally relevant facts … It would be unjust and inequitable to allow the vendor to put forward his own [639] unnecessary delay in the face of the purchaser's frequent requests for expedition as a ground for allowing him further time or as rendering the time limited by such a notice as that to which I have referred an unreasonable time.

See also 398, 415 and 426; *Ajit v Sammy* [1967] 1 AC 255, 258. *McMurray v Spicer* (1868) LR 5 Eq 527, which held that time before the service of a notice to complete is to be excluded in computing whether delay is a defence to a suit for specific performance of a contract for sale of land (at 537–8) has no application to the computation of what is a reasonable time for completion for the purposes of a notice to complete. In saying this I am not to be taken as necessarily endorsing what was said in *McMurray v Spicer*. The notice to complete rested the right of the appellants to rescind the contract

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upon Capalaba's failure to secure registration. The adequacy of the time limited by the notice must be considered in that light. On the view which I have expressed earlier as to the effect of the letter of 14 March 1986, there is no clear evidence that the appellants were pressing Capalaba before 21 August 1986 to complete performance of the agreement and the notice given that day constitutes the first express demand made by the appellants for performance of the agreement in the relevant respect. In computing the reasonableness of the time limited by that notice it is relevant to take account of the time which Capalaba already had to complete performance of the agreement but it is necessary to bear in mind that there was no explicit pressure from the appellants during that time to do so. The appellants had pressed without success for completion pursuant to cl 6, but this was a demand of a more limited nature. Capalaba called evidence from Mr Lockhart, a solicitor, with a view to establishing that the time limited was inadequate for the purpose of having the lease stamped and registered. Mr Lockhart stated that in his experience it would be unlikely that a shopping centre lease would be stamped and registered within fourteen days, though he agreed that documents could be stamped and registered on an urgent basis.

On this point Connolly J said:

> … I am far from persuaded that the contract could not have been stamped, endorsed with the mortgagee's consent and tendered within the 14 days limited. It must be remembered that when this notice was given, those advising the first plaintiff [Laurinda] could have had no knowledge that the lease had not been completed by the defendant's solicitors before it [640] was despatched to Melbourne for execution by the defendant. That completion was, as has been seen, a purely mechanical exercise. Nor had the first plaintiff's advisers any way of knowing that the consent of the mortgagee, though freely available, had not been obtained. Nor had they been told that the contract, although executed, had not been stamped, although they might have conjectured as much from the fact that it had not been brought, in its fully executed form, into Queensland.

The problem with his Honour's approach, viewed from the appellants' standpoint, is that the onus must rest with the party giving the notice of showing that the time limited by the notice is reasonable judged as at the time the notice is given. Consequently, the primary judge's observations do not amount to a finding that the time fixed by the notice was reasonable.

The question is one of fact and it falls to be determined by reference to evidence which, as one might expect on an issue of this kind, is rather indefinite. However, the evidence of Mr Lockhart is sufficient to raise a serious doubt in my mind as to the prospect of having the lease stamped and lodged for registration within the period of thirteen days limited by the notice. Of course this is not a decisive consideration because it is relevant to have regard to the opportunity which Capalaba had to attend to these matters before the notice was given. In *Sindel v Georgiou* (1984) 154 CLR 661, 670 the Court said: "Although in *Ajit v Sammy* … the Privy Council held that a six day notice to complete was reasonable in the circumstances of that case, it is our view that strong circumstances must be shown to justify the giving of a notice to complete which allows less than fourteen days for completion." In my view, no such circumstances have been shown to be present in this case. The time allowed by the notice was therefore insufficient.

But there is strictly no need to decide this point. The finding of repudiation by Capalaba necessitates the allowing of the appeal and the restoration of the orders of Connolly J.

BRENNAN J: [641] Two questions arise: (1) was Capalaba's failure a breach of a term of the agreement for lease? if so, (2) was it a breach which entitled Laurinda to rescind?

The terms of the contract

[23.50] On the appeal, it was conceded that Capalaba was under an implied obligation "to effect registration and to effect it within a reasonable time" … The lessor's obligation comprehends at least the delivery to the intending lessee of an appropriate instrument capable of registration [380]

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and, in my opinion, comprehends also the procuring of its registration. The time to be implied for performance of the intending lessor's obligation is a reasonable time … Time was not of the essence of Capalaba's implied promise to procure registration of an appropriate instrument …

The right to rescind

[23.55] A right in one party to rescind a contract will arise when the [642] other party repudiates a contract generally, but it may also arise when the other party repudiates a term of the contract. A right to rescind depends on the importance of the term repudiated. Here, the subject of the agreement was the granting of a legal lease for a term of six years. The implied promise by Capalaba to procure registration of an appropriate instrument was thus at the heart of the agreement. It was a promise of such importance to the promisee that it would not have entered into the contract unless it had been assured of substantial performance and this ought to have been apparent to the promisor. It answered the criterion of an essential promise in the sense that an outright repudiation of the promise would have entitled Laurinda to rescind. The criterion of an essential promise which I have stated in terms relevant to the present case is derived from the criterion expressed by Jordan CJ in *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632, 641–2 and frequently adopted in this court, most recently in *Ankar Pty Ltd v National Westminster Finance (Australia) Ltd* (1987) 162 CLR 549, 556, but I have modified it by using the term "substantial performance" rather than the usual formula of "a strict or a substantial performance". The modification is necessary when, no day for performance being stipulated and the subject matter of the promise not being such as to require strictly timeous performance, time is not of the essence of the promise either in law or in equity … When time is not of the essence, the promisee must have been willing to enter into the contract without an assurance that the promise would be performed strictly, albeit with an assurance that the promise would be performed substantially. Thus, Laurinda would not have been entitled either at law or in equity to rescind the contract as soon as a reasonable time for procuring registration had elapsed …

Where an essential term – in the sense defined – is to be performed within a reasonable time, there being no stipulated day for performance, and that time passes without performance, the innocent party does not acquire a right to rescind unless the defaulting party repudiates or has repudiated his obligation to [643] perform …. The same observation may be applied to agreements for lease. More than a mere failure in timeous performance is necessary to warrant an inference of repudiation, but delay may be so serious as to amount to a refusal to perform and in such a case an innocent party has a right to rescind. Barwick CJ and Jacobs J observed in *Neeta (Epping) Pty Ltd v Phillips* (1974) 131 CLR 286, 306: "Contracts for the sale of land, creating as they do equitable interests in land, do not easily go off except pursuant to an express condition of the contract or pursuant to an express repudiation or a repudiation clearly to be inferred."

The difference between a contract which contains a stipulated day for performance of an essential term and a contract which, expressly or impliedly, requires performance within a reasonable time is important when the question is whether, on failure to perform within the time limited by the contract, the innocent party is entitled to rescind. In the former case, a right to rescind arises at law when the stipulated day passes; in the latter, that right does not necessarily arise when the reasonable time expires but only when repudiation is clearly to be inferred from the circumstances in which the delay occurs. Delay will amount to repudiation if the defaulting party "evinces an intention no longer to be bound by the contract … or shows that he intends to fulfil the contract only in a manner substantially inconsistent with his obligations and not in any other way": *Shevill v Builders Licensing Board* (1982) 149 CLR 620, 625–6; *Progressive Mailing House Pty Ltd v Tabali Pty Ltd* (1985) 157 CLR 17, 33, 40. If the inference to be drawn from the circumstances is that the defaulting party intends to perform an essential promise after some minor delay, repudiation cannot be inferred; but if the inference is that the defaulting party intends so to delay performance that the promisee will be substantially deprived of the benefit of the promise, repudiation can be inferred. The inference is not lightly drawn: *Progressive Mailing House Pty Ltd v Tabali Pty Ltd* at 32. However, a reservation on

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the part of the promisor that he may perform the promise if it suits his convenience to do so is not inconsistent with repudiation of the contract or promise. Thus [644] Fullagar J was able to say in *Carr v J A Berriman Pty Ltd* (at 349):

> it is correct … to say … that a failure to remedy the breach might continue so long and in such circumstances as to evince an intention on the part of the building owner no longer to be bound by the contract. In other words, the only legitimate inference might be that he is saying: "Not only have I broken my contract by not doing the thing on the due day, but I am not going to do the thing at all", or "I am not going to do the thing at all unless and until I find it convenient to do it".

When delay in performance is prolonged, the point at which repudiation might be inferred is necessarily uncertain. The promisor and promisee are likely to regard the circumstances differently. To provide a firm foundation for the inference of repudiation, it is prudent for the promisee to give a notice to complete. In *Louinder v Leis*, Mason J said (at 526):

> Unreasonable delay in complying with the stipulation in substance amounting to a repudiation is essential to justify rescission. It is to this end that, following breach, the innocent party gives notice fixing a reasonable time for performance of the relevant contractual obligation. The result of non-compliance with the notice is that the party in default is guilty of unreasonable delay in complying with a non-essential time stipulation. The unreasonable delay amounts to a repudiation and this justifies rescission.

That was said in reference to delay beyond a stipulated date. It does not follow that delay beyond the stipulated reasonable time necessarily amounts to repudiation. But if, the stipulated reasonable time having elapsed, a notice to complete allowing a further reasonable time is given, a failure to comply provides a firm foundation for an inference of repudiation. A right to rescind is one thing; fairness in the exercise of that right is another. In some circumstances, equity asserts a jurisdiction to restrain the exercise of a right to rescind. As I attempted to explain in *Louinder v Leis* (at 532–6), a notice to complete does not make time of the essence of the contract when the contract itself does not do so, but it is a step towards lifting an equitable restraint on the exercise of a right to rescind which arises aliunde. Therefore, when a contract requires performance of an essential promise within a reasonable time and a valid notice to complete on or before a specified day is given by the innocent party, the significance of the notice is twofold: primarily, it fixes a day when, if the default is not [645] remedied, the party in default will be held to have repudiated the promise; and, secondarily, it will show that, for equity's purposes, it is fair for the innocent party to exercise that right … Where a contract contains a promise to be performed within a reasonable time, a notice to complete does not insert the time it prescribes into the contract and make that time of the essence, but the notice is evidence which may support the inference of repudiation, from which the innocent party's right to rescind arises and it clears the way for the exercise of that right.

When a reasonable time is prescribed for performance of an essential term of a contract, a notice to complete requiring performance of that term by a specified day can be given only if the party to whom it is given is already in breach of his contractual obligation: *Neeta (Epping) Pty Ltd v Phillips* at 299. But it would be futile to give a notice if, in the event of the default complained of persisting beyond the time limited by the notice, repudiation were not to be inferred from the circumstances then existing. Therefore, in considering whether the time limited by a notice is reasonable in such a case, it is necessary to consider whether an inference of repudiation would be drawn from non-performance if that were to persist beyond that time ….

[646] At the time when the letter of 21 August 1986 was written, it could not reasonably have been inferred from Capalaba's delay in stamping and registering the lease that it did not intend to be bound by its promise to register the lease. Does its failure to stamp and register within the 14 days allowed by the letter of 21 August tip the balance? The answer depends on whether the letter was an effective notice to complete, and there were two reasons advanced for holding that it was not.

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The first found favour before the trial judge and before the Full Court. Connolly J held that the letter of 21 August was not an effective notice to complete because it did not inform Capalaba that Laurinda would treat the contract as at an end if the notice was not complied with. In *Balog v Crestani* (1975) 132 CLR 289, 296–8, Gibbs J raised but did not answer the question whether it was essential to the validity of a notice to complete that it should notify the giver's intention to rescind in the event of non-compliance. As the purpose of a notice is to fix a day for the completion of a contract or the performance of a term of a contract so that the parties' respective rights will be ascertained thereafter as though the contract had stipulated for that day to be of the essence, it must be sufficient that the party giving the notice makes it clear that the terminal day specified in the notice is thereafter to be treated as of the essence for the performance of the contract (or of the relevant term of the contract, as the case may be). The reasons advanced by Deane and Dawson JJ for this view are, in my respectful opinion, compelling. The letter of 21 August 1986 … falls short of communicating Laurinda's intention to treat the end of the 14-day period as of the essence for performance of Capalaba's obligation to complete registration. For this reason … the letter … [647] was not an effective notice to complete. This conclusion led Connolly J to hold that he was constrained to reject the letter "as a notice requiring performance non-compliance of which, without more, entitled [Laurinda] to rescind".

His Honour did not have to decide whether the time limited by the letter of 21 August was unreasonably short …

The onus to establish that the time was reasonable rested on Laurinda. The only evidence was that of Capalaba's solicitor who said that "it would be unlikely to expect that you could get a shopping centre lease stamped and registered within 14 days" although application for expedited stamping and expedited registration could be made to the relevant authorities. Having regard to this fact and the factors earlier mentioned, I should think that the 13 days effectively allowed for registration was unreasonably short. I would not draw an inference merely from Capalaba's non-performance in registering the lease, which continued until the time limited by the letter had expired, that Capalaba had repudiated the contract. However, his Honour found that Capalaba simply declined to perform its obligation "until it suited it" and that Laurinda "was entitled to regard the conduct of [Capalaba] as repudiatory in a relevant sense and to treat the contract as discharged". The finding was based in part upon facts which emerged at the trial, showing that Capalaba had deliberately delayed in executing the lease, securing the mortgagee's consent, stamping and registering the lease (or tendering a registrable lease) because Capalaba's commercial interests were better served by delay.

Repudiation is not ascertained by an inquiry into the subjective state of mind of the party in default; it is to be found in the conduct, whether verbal or other, of the party in default which conveys to the other party the defaulting party's inability to perform the contract or promise or his intention not to perform it or to fulfil it only in a manner substantially inconsistent with his obligations and not in any other way …

[648] [I]n *Carswell v Collard* (1893) 20 R (HL) 47, 48, Lord Herschell LC stated the question precisely: "Of course, the question was not what actually influenced the defender, but what effect the conduct of the pursuer would be reasonably calculated to have upon a reasonable person." …

The question whether an inference of repudiation should be drawn merely from continued failure to perform requires an evaluation of the delay from the standpoint of the innocent party. Would a reasonable person in the shoes of the innocent party clearly infer that the other party would not be bound by the contract or would fulfil it only in a manner substantially inconsistent with that party's [383] obligations and in no other way? Different minds may easily arrive at different answers. If one looks merely at Capalaba's conduct in the circumstances known to Laurinda when the letter of 21 August 1986 was written, Capalaba's failure to register the lease did not amount to repudiation. The shortness of the time for registration limited by that letter and the absence of an intimation in the letter that that time would be regarded as of the essence deprive the letter of 21 August of the effect which a valid notice to complete would have had …

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[649] I would not infer repudiation merely from non-registration within the time limited by the letter. However, I am unable to agree with the Full Court who, accepting that the notice was ineffectual, held that "until an effectual notice was given the delay continued but that alone was insufficient to make evident any intention on the part of [Capalaba] that it would not be bound by the contract". Repudiation may be established without proof of an effective notice to complete. The absence of an effective notice means that the other evidence must be examined to determine whether a clear inference of repudiation should be drawn, but it does not preclude the drawing of that inference.

If the evidence showed no more than 14 days of continued non-registration of the lease after 21 August 1986, I would not draw the inference of repudiation. But the letter of 21 August was followed by Capalaba's solicitors' letter of 3 September 1986. After assurances that the lease had been executed and the costs of stamping and registration had been paid, advice was given in March 1986 that the lessee's stamped parts of the lease would be provided as soon as the lease was available after its return from Melbourne expected "in the not too distant future", but there was no further communication from Capalaba or its solicitors. Then, stimulated by Laurinda's letter of 21 August 1986, Capalaba's solicitors, on the eve of the expiration of the time limited, advise merely that they have referred the letter to their client "for its response", undertaking to advise their "client's instructions". The long and unexplained delay from March to September 1986 ending with a letter stating that the solicitors required further instructions with respect to completing what had been promised over five months earlier is sufficient foundation for the drawing of an inference of repudiation. It is the inference which Laurinda drew and, although it cannot be said that no other reasonable inference is open, it is a reasonable inference which can be clearly drawn. I have vacillated in arriving at this conclusion but, having arrived at it, I would allow the appeal and restore the judgment of Connolly J.

[23.60] DEANE AND DAWSON JJ: [653] The innocent party who makes time of the essence of a contract by an effective notice to complete within a nominated time is bound by the notice in the sense that the time nominated for completion becomes of the essence for him as well as for the defaulting party (see, for example, *Quadrangle Development and Construction Co Ltd v Jenner* [1974] 1 WLR 68, 71; *Balog v Crestani* at 298). If – where completion involves action on his part – the innocent party himself fails to complete within that time, the other party will be able to take account of the then existing circumstances in determining whether to rescind the contract or to institute proceedings for its enforcement. The party giving the notice enjoys the like advantage since he may waive his right to terminate the contract for non-compliance with the requirements of the notice and bring proceedings for specific enforcement of the contract. This mutuality of the respective positions of the parties accords with equitable principle and the interdependent character of the contractual obligations involved. That being so, it would be anomalous if equity were to require that a notice to complete should unequivocally state that the party giving it will, in the stipulated circumstances, treat the contract as at an end in a context where it is unnecessary that he have any such unequivocal intention at the time of giving the notice and where, even if he had such an unequivocal intention at that time, he might subsequently waive the right to treat the contract as at an end and bring proceedings for its enforcement. Moreover, it is somewhat difficult to see why, as a matter of bare principle, a notice fixing a time for completion or performance does not, in the absence of other grounds for termination, constitute a repudiation of the contract if it unequivocally states that the party giving the notice will, on the expiry of what is subsequently held to be an unreasonably short period, act on the basis that the contract is at an end. True it is that these difficulties will be avoided or overcome if such an unequivocal statement in a notice to complete or perform is read as not meaning what it says but as being subject to an implied qualification that the party giving the notice will not treat the contract as at an end at all unless he both desires and is entitled to rescind at the expiry of the time which the notice fixes: compare *Woodar Investment Development Ltd v Wimpey Construction UK Ltd* [1980] 1 WLR 277. However, such distortion of the ordinary meaning of words serves only to illustrate the undesirability and potentially misleading consequences of a requirement that a notice to complete [653] contain such an unequivocal statement. The notions of fairness and good conscience which inspire the traditional doctrines of equity point strongly against any such inflexible requirement …

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[T]he weight of past authority is debatable and clearly inadequate to justify this court in insisting upon a requirement that a notice to complete must unequivocally state that, in the event of non-compliance, the party giving the notice will treat the contract as at an end. That is not, of course, to suggest that a notice will be effective to make time of the essence of a contract with the consequence that the party giving the notice will be entitled to rescind in the event of non-compliance if it is inadequate to convey to a reasonable person in the position of the recipient that that is its purport and effect. The whole point of equity's intervention in relation to stipulations as to time was that, in the absence of express or implied contractual provision to the contrary, it regarded it as inequitable or unconscionable for a party to a contract to rescind for breach of a time stipulation without having given reasonable warning to the party in default. It seems to us, however, that, in modern circumstances, a notice will be adequate to convey such a warning if, but only if, it conveys either that the time fixed for performance is made of the essence of the contract or that the party giving the notice will, in the event of non-compliance, be entitled (or regard himself as entitled) to rescind. A notice, particularly one between solicitors, can convey those matters by implication.

The letter of 21 August 1986 from the lessee's solicitors contained no mention of termination of the contract. Nor did it state that time was being made of the essence or that the lessee would, in the event of non-compliance, be, or regard itself as being, entitled to rescind … [Their Honours then referred to the letter and continued:] On balance, however, it appears to us that [the letter was] inadequate to convey either of those matters in the circumstances of the present case. It follows that the letter was ineffective to make time of the essence of the contract …

[655] There remains for determination the question whether, even accepting that the letter of 21 August 1986 was inadequate to make time of the essence of the contract, the lessee was, by 5 September 1986, entitled to rescind the contract by reason of repudiation by the lessor. That question was resolved in the lessee's favour by Connolly J at first instance and in the lessor's favour by the Full Court. It can be said at once that we are in substantial agreement with the reasoning of Connolly J in relation to it …

[Their Honours then reviewed the correspondence and continued:] [657] It is in the above context that one must examine the effect of the letter of 21 August 1986 from the lessee's solicitors … The lessor's response was its solicitors' letter which was not posted until 3 September 1986, that is, the day before the last day allowed by the notice. That response bordered on the contemptuous. It conveyed no explanation of past failure to honour either contractual obligation or subsequent assurances. It contained no assurances at all as to the future …

The question which must now be answered is whether the lessor's conduct up to and including the letter of 3 September 1986 was such as to constitute repudiation of the contract …

[658] In the present case, the alleged repudiation by the lessor was of the fundamental obligation to produce a lease of the subject premises in registrable form. Clearly, there was unreasonable delay on the part of the lessor in the performance of that obligation. That delay was deliberate and was for the lessor's own commercial purposes. Its significance, from the viewpoint of a reasonable person in the position of the lessee, was heightened by an absence of explanation in the face of the lessee's requests and complaints and by the dishonouring of assurances given as to future conduct. Indeed, even the assurance that the lease had been executed by the lessor was misleading since it now appears that no completed form of lease had even been brought into existence. The letter of 21 August 1986 from the lessee's solicitors served to bring matters to a head. The totally unresponsive reply of 3 September 1986 seems to us to have taken the matter to a stage where the combined effect of dishonoured assurances, continued failure to produce a lease in registrable form and continued refusal properly to address the lessee's legitimate requirements and complaints was, to adapt words used by Fullagar J in *Carr v J A Berriman Pty Ltd* (at 351) such that a reasonable man could hardly draw any other inference than that the lessor was not prepared to take its primary obligation under the contract seriously …. [659]

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It was, in our view, correctly resolved by the learned trial judge in the lessee's favour in the present case when he held that the lessor's conduct constituted repudiation of the contract which entitled the lessee to terminate it.

It follows that we would allow the appeal, set aside the orders of the Full Court of the Supreme Court and restore the orders made by the learned primary judge … [GAUDRON J agreed that the lessor's conduct amounted to repudiation.]

Appeal allowed.

CHAPTER ***24***

Consequences of affirmation or termination

[24.05] ELECTION 627
[24.10] WHERE THE CONTRACT IS AFFIRMED 627
[24.10] Consequences of affirmation for the aggrieved party 627
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[24.20] *Bowes v Chaleyer* 628
[24.30] WHERE THE CONTRACT IS TERMINATED 631
[24.30] Consequences of termination for the aggrieved party 631
[24.35] Consequences of termination for the non-performing party 631

ELECTION

[24.05] On breach of condition, grave breach of an intermediate term or repudiation, the party not in breach (the *aggrieved party*) has a right to terminate the contract. In this situation, it is said that the aggrieved party is put to his or her *election*. The essence of election is that an aggrieved party cannot take up two inconsistent positions. Either the aggrieved party must terminate the contract or he or she must *affirm*, that is continue with, the contract. Affirming a contract does not destroy the aggrieved party's right to sue for damages for the breach in question. Once it is made, an election is final and cannot be retracted. On what constitutes an election, see Chapter 25.

This chapter considers the consequences of an aggrieved party's decision either to affirm or to terminate a contract for both the aggrieved party and the other party.

WHERE THE CONTRACT IS AFFIRMED

Consequences of affirmation for the aggrieved party

[24.10] See *Foran v Wight* (1989) 168 CLR 385, extracted at [25.15].

Consequences of affirmation for the non-performing party

Right to rely on subsequent events

[24.15] Affirmation keeps the contract alive for the benefit of both parties: *Bowes v Chaleyer* (1923) 32 CLR 159, 197; *Foran v Wight* (1989) 168 CLR 385, 395 and 441. Accordingly, a party who has breached or repudiated a contract may be able to rely to her or his advantage on subsequent events, including subsequent breaches by the aggrieved party: *Bowes v Chaleyer* (1923) 32 CLR 159.

Bowes v Chaleyer

[24.20] *Bowes v Chaleyer* (1923) 32 CLR 159 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: The parties entered into a contract for the sale of 1,800 yards of French tie silks at various prices by Chaleyer, the *plaintiff/respondent*, to Bowes, the *defendant/appellant*. The contract contained the following term: "Goods to be shipped per sailer/steamer. Half as soon as possible. Half two months later".

A short time after the contract was made, the appellant wrote to the respondent, announcing that the appellant would be compelled to cancel the order due to concerns over the price of the tie silks. The respondent nonetheless proceeded to import the tie silks. Some 340 yards were shipped by the El Kantara on 21st October; some 800 yards by the Morea on 17th November; some 580 yards by the Naldera on 13th December. The respondent tendered each order to the appellant, but they were rejected. The appellant asserted that the contract had been cancelled shortly after it was made. The respondent sued the appellant, claiming as damages the difference between the contract price of the goods and the price obtained on the sale by auction, alleging that the appellant wrongfully repudiated the contract.]

KNOX CJ: [167] The first question for decision is whether the appellant was entitled to reject the goods tendered to him on the ground that the conditions of the contract as to shipment had not been complied with.

Three questions are involved, namely: (1) What is the meaning of the stipulation with respect to shipment? (2) Was the stipulation complied with? and (3) If not, did the failure to comply with it entitle the appellant to reject the goods tendered?

(1) As to the first of those questions, the words of the stipulation are "Goods to be shipped per sailer/steamer. Half as soon as possible. Half two months later." I can find no ambiguity in these words. Their natural or literal meaning appears to me to be that the goods were to be shipped by sailing ship or steamer in two instalments, each consisting of substantially one-half of the goods ordered, the first instalment to be shipped as soon as possible and the second instalment two months after the shipment of the first. Macfarlan J thought that the words "two months later" might mean either "not more than two months later," "exactly two months later," "as nearly as possible two months later," or "not less than two months later." I am unable to agree. I can find no justification in the context for adding to the plain and unambiguous expression "two months later" either the words "not more than" or the [168] words "not less than." The parties having expressed their agreement in plain words, it is not open to the Court to consider what their motives were or whether they may not have meant to stipulate for something different. In view of the dates and quantities of the respective shipments, it is not necessary to consider whether "two months later" meant "exactly two months later" or "as nearly as possible two months later."

(2) On the meaning which I attribute to the stipulation in question it is clear that the respondent did not comply with it …. In one respect, at any rate, the words of the agreement are clear, namely, in providing that a period of substantially two months must elapse between the shipment, ie, the complete shipment, of one-half of the goods ordered and the shipment of the other half; and, even assuming that the contract did not require the first half to be comprised in one shipment, the admitted facts show that neither the first shipment taken alone, nor the first and second shipments taken together, consisted even approximately of one-half of the goods ordered, and that the third shipment did not comprise even approximately one-half of the goods and was not made two months later than the second shipment, some portion of which was required to make up the first instalment of one-half.

(3) The stipulation in question fixed the times of shipment of the goods sold, as well as the amounts of the respective shipments. The general rule is that a stipulation in a contract for

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> the sale of goods that the goods shall be shipped at a given time is, at least prima facie, a condition precedent: see *J Aron & Co v Comptoir Wegimont* [1921] 3 KB 435, and the cases referred to by McCardie J in his judgment in that case. I can find nothing in the terms of the contract or in the circumstances of this case which requires that this stipulation should be considered otherwise than as a condition precedent, the breach of which would justify the appellant in rejecting the goods when tendered. The tender made on 19th January was not of [169] one-half the goods, nor was the tender which was made on 26th January; and on 8th February, when the third tender was made, the conditions of the contract as to shipment of both instalments had been broken.

But Mr Cohen, for the respondent, argued that the appellant had, in June 1920, repudiated his obligation under the contract and that his repudiation absolved the respondent from the necessity of showing that any condition precedent had been fulfilled; and in support of this argument he relied on the decision of the Court of Appeal in *Braithwaite v Foreign Hardwood Co* [1905] 2 KB 543. It is a sufficient answer to this argument that the repudiation by the appellant was never accepted by the respondent, who elected to proceed with the performance of the contract notwithstanding the repudiation. By his statement of claim the respondent alleges that in June 1920 the appellant wrongfully repudiated the contract. After that date the respondent procured the shipment of all the goods covered by the contract and, so far from accepting the repudiation, on three separate occasions tendered goods to the appellant in assumed performance of the contract. A repudiation, or, more properly, a breach by anticipation, of the contract by one party gives the other party the option of treating the contract as at an end or of waiting till the time for performance has arrived before making any claim for breach of contract. If he elects to wait – as the respondent did in this case – he remains liable to perform his part of the contract and enables the party in default to take advantage of any supervening circumstance which would justify him in refusing to perform it: *Halsbury's Laws of England*, vol VII, p 439; *Frost v Knight* (1872) LR 7 Ex 111, 112 ….

[170] For these reasons I am of opinion that the appeal should be allowed and judgment be entered for the appellant, the defendant in the action.

[24.25] HIGGINS J: In the plaintiff's order form, filled in and signed by the defendant, the plaintiff was requested to indent for the defendant certain tie silks, specified, from Europe: "Goods to be shipped per sailer/steamer. Half as soon as possible. Half two months later." It appears that some 340 yards were shipped by the El Kantara on 21st October; some 800 yards by the Morea on 17th November; some 580 yards by the Naldera on 13th December – all in 1920. It is clear, therefore, that the half-and-half stipulation was not observed; nor was there an interval of two months between the first and second shipments, or between the second and third shipments. The learned Judge who tried the action interpreted the words "half two months later" as meaning not more than two months later – just as if the words used were "half within two months afterwards." I regret that I cannot take this view of the meaning; I regret it because the defendant would probably not have accepted the goods even if the contract as to shipment had been literally fulfilled. But the emphatic word is "later"; and as there is nothing in the rest of the contract to qualify the words, I am constrained to take the view that there was to be an interval of substantially two months before the second shipment. Such a provision may well have a familiar commercial purpose – the merchant may well want an interval within which he may dispose of the first shipment before [188] he be called on to find the money for the second; or in arranging his contracts for a period to come, he may want to know how long, approximately, it will be before the ship can arrive with the goods. The parties may not have actually meant this effect; but we have to act not on what they actually meant, but on what they have said. Looking at the construction of the words as they stand, I can find no ground for treating the stipulation as to the interval between shipments as being other than a condition precedent to the duty of the purchaser to accept the goods ….

Unless, therefore, the alleged repudiation of the contract by the defendant relieved the plaintiff in some way of his obligation to have the goods shipped as provided in the contract, the defendant was not under any obligation to accept the goods ….

Bowes v Chaleyer cont.

[190] It is clear, therefore, that on and after 19th January, if not before, the defendant gave absolute and unequivocal notice to the plaintiff that he would not accept the goods – would not perform the contract. The plaintiff then had a right of election: he could have concurred with the defendant in rescinding the contract, and bring an action for the breach; or he could have treated the notice as inoperative, and proceed with the contract. The plaintiff chose the latter course; and thereby he remained subject to all his own obligations under the contract, and the defendant remained in a position to take advantage of any failure of the plaintiff to do his part. A door must be either open or shut; a contract must either subsist or be at an end. This contract was not at an end; and the question remains, has the plaintiff failed to fulfil the conditions which would entitle him to payment from the defendant. On my view of the meaning of the words of the contract, the plaintiff has failed to have the goods shipped in halves, with an interval of two months; and the defendant is entitled to say, "what you offered to me is not that for which I bargained – non haec in foedera veni." [191] It is not for Courts to weigh the importance of conditions which parties choose to put into their contracts; the failure here must be treated as being as fatal as if the contract were for pigskins and the tender were of sheepskins.

Counsel for the plaintiff have relied on a case before the Court of Appeal in England: *Braithwaite v Foreign Hardwood Co* [1905] 2 KB 543. There a contract provided for the sale of rosewood to be delivered in Hull in instalments during 1903. There were two consignments. Before the first consignment reached Hull the buyers refused to accept any rosewood under the contract on a ground which was untenable. Afterwards, the plaintiff wrote saying that he had the bill of lading for the first consignment; and the defendants wrote refusing to take the bill of lading as they had repudiated the whole contract; and the plaintiff sold the consignment and claimed the difference between the contract price and the price on resale. The second consignment came, and the defendants again refused, and the consignment was resold at less than the contract price. It appeared subsequently that the first consignment was inferior in quality to that agreed on; the second consignment was satisfactory in quality. It was held by Kennedy J that the repudiation of the contract by the defendants was accepted by the plaintiff as a final repudiation; and that the defendants could only give evidence of inferior quality in reduction of damages. This decision was affirmed by the Court of Appeal on the ground that the refusal of the defendants to take the bill of lading (after the general repudiation) amounted to a waiver by the defendants of the performance by the plaintiff of the conditions precedent. There is no such waiver here of the performance by the plaintiff of the conditions precedent as to shipment. This case was discussed and followed in *Taylor v Oakes, Roncoroni & Co* (1922) 27 Com Cas, 261; 127 LT, 267; and Scrutton LJ said (1922) 27 Com Cas, 272–3; 127 LT, 271:

> The vendor, not accepting the first repudiation, tendered the bill of lading for the instalment, and the purchaser refused to take it, on the ground that there was a collateral contract which he inaccurately alleged to exist. Thereupon the vendor accepted the [192] second repudiation and sold the goods. It was held that it was no use the purchasers saying "Oh, but the goods you were going to tender were not in accordance with the contract," because once they had repudiated the contract and the repudiation had been accepted, the vendor was relieved from the necessity of proving his readiness and willingness.

The expressions used in *Braithwaite's Case* [1905] 2 KB 543 may not have been very carefully weighed; but the case lends no support to the argument that failure of the plaintiff to fulfil a condition precedent cannot be used as a defence where the plaintiff has not accepted the defendant's repudiation (see also *British and Benington Ltd v North-Western Cachar Tea Co* [1923] AC 48).

In my opinion, the appeal should be allowed.

I do not hesitate to say that my opinion is given with hesitation. For we have to interpret a loosely expressed contract – a printed form of the plaintiff, filled in carelessly, without a careful fitting of the written words to the printed. One may conjecture, for instance, that the word "sailer" was inadvertently left standing in the printed form "per sailer/steamer"; but as the word has not been

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crossed out, we must give it due effect. If I felt free to preface my judgment by a general statement that the respondent in all substantial respects has faithfully carried out his part of the transaction, and that all the elements of real justice are on the side of the respondent, my opinion would, of course, be in favour of the respondent; but I should feel that I was begging the whole question. The whole case turns on the construction of a peculiar contract which is not likely to be repeated.

[STARKE J reached a similar conclusion to Knox CJ and Higgins J. ISSACS and RICH JJ dissented.]

Appeal allowed.

WHERE THE CONTRACT IS TERMINATED

Consequences of termination for the aggrieved party

[24.30] Where an aggrieved party terminates a contract, that action brings to an end both parties' future obligations to perform under the contract. However, the contract is not rescinded from the beginning. This means that rights that have already been unconditionally acquired, or *accrued*, are not discharged: see *McDonald v Dennys Lasceles Ltd* (1933) 48 CLR 457, extracted at [29.85]. Examples of rights which have accrued before a contract is terminated include the right to recover payment for any part of the contract which has been performed (see Chapter 29) and the right to claim damages for any breaches accruing up until the time the contract was terminated (see Chapter 26).

Consequences of termination for the non-performing party

[24.35] As just noted, where a contract is terminated, rights which have accrued prior to termination continue in force and may accordingly be relied upon even by a party who has breached or repudiated the contract.

CHAPTER ***25***

Restrictions

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RESTRICTIONS ON THE RIGHT TO TERMINATE

[25.05] There are a number of ways in which a party who has a prima facie right to terminate a contract (the *aggrieved party*) may be restricted from exercising that right. The parties may themselves impose such restrictions by way of express terms. Some statutes also impose restrictions on the right to terminate for breach. This chapter is concerned with the legal and equitable principles which may restrict an aggrieved party's right to terminate a contract.

READINESS AND WILLINGNESS

[25.10] To be entitled to terminate a contract for breach or repudiation, an aggrieved party must generally be able to show that he or she was ready and willing to perform the contract. The time at which an aggrieved party must have been ready and willing to perform and what the aggrieved party must show to satisfy the requirement are discussed in *Foran v Wight*.

Foran v Wight

[25.15] *Foran v Wight* (1989) 168 CLR 385 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: A contract for the sale of land under which the *purchaser* paid a 10 per cent deposit of $7,500 provided for settlement on or before 22 June 1983 and in this respect time was of the essence. On 20 June 1983, the vendors' solicitor advised the purchasers' solicitor that the *vendors* would be unable to settle on 22 June as they would be unable by then to effect registration of a right of way as they were required under the contract to do. On 22 June, neither party tendered performance. On 24 June, the purchasers served a notice of rescission on the vendors based on the vendors' failure to complete on 22 June. The vendors refused to recognise the validity of the rescission. The purchasers sought declarations that the contract had been validly rescinded and that they were entitled to the return of the deposit.

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The vendors claimed that the purchasers would not have been able to raise the purchase money by 22 June and, accordingly, they were not entitled to rescind the contract. The evidence as to the purchasers' financial condition was somewhat vague, but the trial judge found that if the purchasers bore the onus of proving their ability to pay the purchase price, they had not discharged it. Nevertheless the trial judge gave judgment for the purchasers on the basis of the repudiation by the vendors on 20 June. The Court of Appeal, Kirby P dissenting, set aside the judgment for the purchasers who then appealed to the High Court.]

DAWSON J: [440] The term of the contract requiring completion on or before 22 June 1983 was, by express provision, an essential term. Clearly enough, by indicating on 20 June 1983 that they would not be complying with it, the vendors were in anticipatory breach of the contract and had thereby repudiated it.

[441] In *Afovos Shipping Co v Pagnan* [1983] 1 WLR 195 at 230, Lord Diplock suggested that anticipatory breach of a contract by one party occurs only where "the threatened non-performance would have the effect of depriving [the] other party of substantially the whole benefit which it was the intention of the parties that he should obtain from the primary obligations of the parties under the contract then remaining unperformed …. The non-performance threatened must itself satisfy the criteria of a fundamental breach". Perhaps Lord Diplock was intending to suggest that an anticipatory breach of an essential (or fundamental) term need not necessarily amount to repudiation. On the other hand, perhaps he was recognizing that an anticipatory breach must be fundamental before it can amount to repudiation, whether it is fundamental because it is the breach of an essential term or for some other reason. An essential term is a term which the parties have agreed, or which the law says, goes to the root of the contract. In *Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd* (1989) 166 CLR 623, Brennan J thought that anticipatory breach may amount to repudiation whether it is of an essential term or otherwise goes to the root of the contract. I see no reason to doubt that view. It is in accordance with the decision of this Court in *Huppert v Stock Options of Australia Pty Ltd* (1965) 112 CLR 414, and the observations of Dixon CJ in *Rawson v Hobbs* (1961) 107 CLR 466 at 480.

Repudiation by way of anticipatory breach by a party to a contract does not put an end to the contract unless the other party accepts the repudiation and rescinds the contract. Although he may do so, the other party does not have to accept the repudiation. He may continue to treat the contract as on foot and hold the party guilty of repudiation to the performance of his obligations. If those obligations remain unperformed when the time for performance arrives, the anticipatory breach will be converted into an actual breach. If the other party keeps the contract alive, he does so not only for his own benefit but also for the benefit of the party guilty of repudiation. The latter may, upon giving reasonable notice, [442] withdraw his repudiation and complete the contract and, subject to a qualification with which I shall deal, the other party remains bound by the contract, enabling the repudiating party to take advantage of any breach by the other party or any supervening event which would discharge him from liability. If the other party elects to rescind, the rescission is, of course, not ab initio. He is entitled to maintain an action for damages for the anticipatory breach, the damages being calculated by reference to the loss which he would suffer by the breach becoming actual, subject to any opportunity to mitigate his loss in the meantime. It is, I think, clear that the anticipatory breach of a contract amounting to repudiation cannot, if the repudiation is not accepted, continue beyond the time for performance. At that point, the failure to perform becomes an actual and not an anticipatory breach and the remedies available are for actual, rather than anticipatory, breach.

I have said that there is a qualification to the proposition that a party who elects not to accept the repudiation of a contract remains bound by the terms of the contract to perform the obligations which it imposes upon him. Whilst the contract remains on foot for both parties, if the repudiation by one party makes it futile or pointless for the other party to attempt to perform an obligation, the law does not require him to do so. The obligation remains — it does not disappear from the contract — but the other party is treated as if he had performed it in the limited sense that he is absolved from the consequences, which would otherwise flow from his non-performance. This principle, which emerged before the doctrine of anticipatory breach was formulated in 1853 in *Hochster v De la Tour* (1853) 2

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El & Bl 678; 118 ER 922 was originally justified as being common sense, although it has latterly been seen as the early recognition of the now developed notions of estoppel.

In *Jones v Barkley* (1781) 2 Doug 684; 99 ER 434, which preceded the doctrine of anticipatory breach, the plaintiffs were under a contractual obligation to assign an equity of redemption and execute a release in consideration of a sum of money to be paid by the defendant. The [443] defendant refused to perform his part of the bargain. Lord Mansfield said (at 694; ER at 439–40):

> If ever there was a clear case, I think the present is. One need only state what the agreement, tender, and discharge, were, as set forth in the declaration. It charges, that the plaintiffs offered to assign, and to execute and deliver a general release, and tendered a draft of an assignment and release, and offered to execute and deliver such assignment, but the defendant absolutely discharged them from executing the same, or any assignment and release whatsoever. The defendant pleads, that the plaintiff did not actually execute an assignment and release; and the question is, whether there was a sufficient performance. Take it on the reason of the thing. The party must shew he was ready; but, if the other stops him on the ground of an intention not to perform his part, it is not necessary for the first to go farther, and do a nugatory act.

In *Ripley v M'Clure* (1849) 4 Ex 345; 154 ER 1245, also decided before the doctrine of anticipatory breach had emerged, the plaintiff had agreed to sell and the defendant to buy part of a cargo of tea to be exported from China. The goods were to be delivered to Belfast at a certain price, payable on delivery. It was held that a refusal by the defendant before the arrival of the cargo to perform his part of the agreement would dispense with the plaintiff's obligation to deliver the goods. Parke B put it in terms of waiver, saying (at 359–60; 1251):

> By an express refusal to comply with the conditions of the contract of purchase, the defendant must be understood to have said to the plaintiff, "You need not take the trouble to deliver the cargo to me, when it arrives at Belfast, as purchaser, for I never will become such;" and this would be a waiver, at that time, of the delivery, and, if unretracted, would dispense with the actual delivery after arrival.

And in *Cort v Ambergate Railway Co* (1851) 17 QB 127; 117 ER 1229, the plaintiffs, who jointly manufactured railway chairs, sued for breach of contract to manufacture and supply certain chairs to the defendants. The defendants, having accepted and paid for some of the chairs, told the plaintiffs not to supply any more as they would not accept or pay for them. The plaintiffs averred that they were ready and willing to perform the contract but were prevented from doing so by the defendants, an allegation which was traversed by the defendants. Lord Campbell CJ observed (at 144; 1236): [444]

> In common sense the meaning of such an averment of readiness and willingness must be that the noncompletion of the contract was not the fault of the plaintiffs, and that they were disposed and able to complete it if it had not been renounced by the defendants. What more can reasonably be required by the parties for whom the goods are to be manufactured? If, having accepted a part, they are unable to pay for the residue, and have resolved not to accept them, no benefit can accrue to them from a useless waste of materials and labour, which might possibly enhance the amount of damages to be awarded against them.

Lord Campbell continued (at 148; 1237):

> Upon the whole, we think we are justified, on principle and without trenching on any former decision, in holding that, when there is an executory contract for the manufacturing and supply of goods from time to time, to be paid for after delivery, if the purchaser, having accepted and paid for a portion of the goods contracted for, gives notice to the vendor not to manufacture any more as he has no occasion for them and will not accept or pay for them, the vendor having been desirous and able to complete the contract, he may, without manufacturing and tendering the rest of the goods, maintain an action against the purchaser

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> for breach of contract; and that he is entitled to a verdict on pleas traversing allegations that he was ready and willing to perform the contract, that the defendant refused to accept the residue of the goods, and that he prevented and discharged the plaintiff from manufacturing and delivering them.

It may be thought that in that passage there are indications that the final destination of the principle would be found to lie in estoppel. There could be no claim by the plaintiffs based upon the delivery of the goods, but the defendants were, by reason of their representation, precluded (or estopped) from alleging that the plaintiffs were not ready or willing to deliver them.

Similar indications are to be found in *Peter Turnbull & Co Pty Ltd v Mundus Trading Co (Australasia) Pty Ltd* (1954) 90 CLR 235. In that case the defendant had contracted to sell oats to the plaintiff to be loaded in Sydney, during the months of January and February 1951, on a ship or ships to be nominated by the plaintiff. The defendant was having difficulty supplying the oats but persisted up to 28 February in saying that it could perform the contract by shipment in Melbourne, thus intimating to the plaintiff that it was useless to pursue the conditions of the contract applicable to shipment in Sydney and that the plaintiff need not do so. Dixon CJ pointed out that in the court below the case was treated as "one in which [445] the contract had been kept open by the plaintiff notwithstanding the defendant's intimation of its inability to perform it, with the consequence that the plaintiff was bound to fulfil the conditions on its part to be fulfilled": at 245. But, as Dixon CJ noted, the case was not as simple as that. The intimation by the defendant and the course pursued by it was an "additional element" which brought into application other principles of law. Although he did not speak in terms of estoppel, clearly enough what Dixon CJ was referring to as an additional element was the representation by the defendant that it was pointless for the plaintiff to nominate a ship for shipment in Sydney and the reliance of the plaintiff upon that representation in not making such a nomination. That was the circumstance which brought into play the principle of law which Dixon CJ (at 246–7) expressed as follows:

> Now long before the doctrine of anticipatory breach of contract was developed it was always the law that, if a contracting party prevented the fulfilment by the opposite party to the contract of a condition precedent therein expressed or implied, it was equal to performance thereof … But a plaintiff may be dispensed from performing a condition by the defendant expressly or impliedly intimating that it is useless for him to perform it and requesting him not to do so. If the plaintiff acts upon the intimation it is just as effectual as actual prevention….

It is necessary to deal with the decision in *Braithwaite v Foreign* [446] *Hardwood Co* [1905] 2 KB 543, more for the difficulty which it has caused than for the light which it shed upon the relevant principles. In that case, the plaintiff, who lived in British Honduras, contracted to sell a quantity of Honduras rosewood to the defendants by instalments. Payment was to be by cash against bill of lading. While the first consignment was on the sea, the defendants repudiated the contract and refused to accept any rosewood upon the ground that the seller had committed a breach of a collateral oral agreement not to supply rosewood to any other person in the trade. Ultimately the trial judge found that there was no such collateral agreement. After the defendants' repudiation of the contract, the plaintiff's agent informed the defendants that he had received the bill of lading for the first instalment, but the defendants again wrote refusing to take the bill of lading on the basis of their previous repudiation. When the first consignment of rosewood arrived, the plaintiff sold it as against the defendants and sought to recover the difference in price from them by way of damages. The trial judge, Kennedy J, found that the repudiation of the contract by the defendants was wrongful and that it was accepted by the plaintiff, presumably when the first consignment was sold. But he also found that a portion of the first consignment was not in accordance with the contract and that the defect would have entitled the defendants to repudiate the contract with respect to that consignment had they not previously wrongfully repudiated it. He awarded damages to the plaintiff, making allowance for the defective wood. No question arose with respect to a second consignment which was, in the absence of any collateral agreement, wrongly rejected by the defendants.

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On appeal, Collins MR, somewhat inexplicitly in view of the finding of Kennedy J to the contrary, treated the defendants' repudiation of the contract as not having been accepted by the plaintiff. Upon that basis he expressed the view that the act of the defendants in refusing to take the bill of lading absolved the plaintiff from the obligation of delivering rosewood in accordance with the specifications of the contract. Cozens-Hardy LJ agreed with Collins MR. Mathew LJ, who purported to be of the same opinion, dealt with the matter (as appears from the report in (1905) 74 LJ KB 688 at 693–4) upon the basis that the plaintiff accepted the defendants' repudiation of the contract. He then described as "astonishing" the suggestion made by the defendants that, having discovered that their repudiation was wrongful, "they are entitled to fall back upon and to re-open the matter of the first consignment, [447] and to say that, as they have since discovered that the plaintiff would have been in a difficulty as to the delivery of that consignment, he was not in a position to perform the conditions precedent with respect to that consignment, and therefore cannot claim any damages with respect of it".

There have been various explanations of the decision in *Braithwaite*: see, for example, *Taylor v Oakes Roncoroni and Co* (1922) 127 LT 267; *British and Benington's Ltd v NW Cachar Tea Co* [1923] AC 48; *Bowes v Chaleyer* (1923) 32 CLR 159. Whatever explanation is the correct one, the reasons of the majority in *Braithwaite* may be interpreted as offering support for the proposition that where a contract is repudiated by a party to it, the other party, if he does not accept the repudiation and affirms the contract, is thereby absolved from tendering further performance under the contract, at all events unless and until the repudiation is withdrawn. Put in that way, that proposition has now been found unacceptable by the House of Lords in *Fercometal v Mediterranean Shipping Co* [1989] 1 AC 788. In that case, Lord Ackner, whose reasons were those of the House, favoured an interpretation of *Braithwaite* whereby after the first general repudiation by the defendants, there was an offer by the plaintiff to tender the bill of lading in relation to the first consignment, which was refused. Upon this view that refusal constituted a second repudiation by the defendants "which was accepted by sale in the market, thereby making it irrelevant to consider any question of waiver of conditions precedent": at 803. Upon this basis, *Braithwaite* does not support the above proposition for which it appears to be authority. On the other hand, if that explanation is incorrect and *Braithwaite* does support that proposition, then, in the opinion of Lord Ackner, it is wrong. In his view, the correct exposition of the law is as follows (at 805):

> When A wrongfully repudiates his contractual obligations in anticipation of the time for their performance, he presents the innocent party B with two choices. He may either affirm the contract by treating it as still in force or he may treat it as finally and conclusively discharged. There is no third choice, as a sort of via media, to affirm the contract and yet to be absolved from tendering further performance unless and until A gives reasonable notice that he is once again able and willing to perform. Such a choice would negate the contract being kept alive for the benefit of both parties and would deny the party who unsuccessfully sought to rescind, the right to take [448] advantage of any supervening circumstance which would justify him in declining to complete.

This statement of the law, by itself, does not accommodate the earlier cases beginning with *Jones v Barkley* to which Lord Ackner had earlier made reference. These cases "were concerned to absolve the "innocent party" from the need to render useless performance, which the repudiating buyer had indicated he no longer wanted": [1989] 1 AC at 797. The principle established by these cases may or may not be thought to provide a via media, but it is not possible to ignore them. Nor did Lord Ackner do so. However, in recognising them, he categorised them as cases of estoppel. Thus he says (at 805):

> Of course, it is always open to A, who has refused to accept B's repudiation of the contract, and thereby kept the contract alive, to contend that in relation to a particular right or obligation under the contract, B is estopped from contending that he, B, is entitled to exercise that right or that he, A, has remained bound by that obligation. If B represents to A that he no longer intends to exercise that right or requires that obligation to be fulfilled by A and A acts upon

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> that representation, then clearly B cannot be heard thereafter to say that he is entitled to exercise that right or that A is in breach of contract by not fulfilling that obligation.

Turning to *Fercometal* itself, it is not difficult to see why Lord Ackner chose to deal first with the doctrine of anticipatory breach as a separate issue and then to introduce a qualification by way of estoppel. Indeed, it may be inaccurate to speak of estoppel as a qualification for it rests upon its own principles, irrespective of whether those principles have previously been given express recognition in the context of anticipatory breach. In *Fercometal*, charterers entered into a charterparty with the owners of a vessel for the carriage of a cargo of steel from Durban to Bilbao. There was no time stipulated for the loading of the vessel, but the charterers were given the option of cancelling the charterparty should the vessel not be ready to load on or before 9 July 1982. Upon forming the view that the vessel would not be available for loading by 9 July, the charterers on 2 July purported to cancel the contract. That cancellation was premature and constituted a repudiation of the charterparty by way of anticipatory breach. The owners continued to assert the availability of the vessel. On 8 July, despite the owners' assertion that the vessel was available for loading, it was clear that it was not and on 12 July the charterers sent a further cancellation notice. The owners advanced a claim for [449] dead freight against the charterers, based upon a contention that the repudiation constituted by the first and wrongful cancellation, although not accepted, absolved the owners from any responsibility of having their vessel ready by the cancelling date, thus disentitling the charterers from cancelling on or after that date and enabling the owners to pursue their claim.

Clearly in that situation, there was, to use the words of Dixon CJ in *Peter Turnbull*, no "additional element" which, the contract having been kept alive, could have relieved the owners of their obligations under it. Thus, speaking in the language of estoppel, Lord Ackner concluded that there was no finding of any representation by the charterers that they no longer required the owners' vessel to arrive on time let alone that the owners were induced thereby not to make the vessel ready to load by 9 July.

There is, in truth, no difference between the "additional element" of which Dixon CJ spoke and the requirements of the law of estoppel, even taking the strictest view of those requirements ….

Under the contract, the obligation of the purchasers to pay the purchase price or the balance of the purchase price was simultaneous with the obligation of the vendors to deliver a conveyance. That is to say, they were mutual or concurrent obligations, the performance of each being conditional upon the performance of the other. [451] Not only were there concurrent obligations to settle but, an essential time having been fixed for settlement, there was an obligation on each side to settle within that time. The vendors intimated, however, that they could not settle within that time and impliedly intimated that it would be useless for the purchasers to attempt to do so. Unless there was some reason preventing them from doing so, the purchasers were entitled to rely upon the representation of the vendors as absolving them from tendering the purchase price within the stipulated time. In *Mahoney v Lindsay* (1980) 55 ALJR 118 at 119, Gibbs J, relying upon *Peter Turnbull*, expressed the situation as follows:

> The main argument submitted on behalf of the appellant was that in the circumstances, it was not proved that the respondents had been absolved from their obligation to seek out the vendor and tender the purchase money. However, if one party to a contract prevents the other from fulfilling a condition of the contract, that is equivalent to performance by the latter.

The reason why it is said that the purchasers were not entitled to rely upon the vendors' representation is that they, the purchasers, were not ready and willing to perform their obligations because they did not then have the finance to enable them to do so. Of course, the date for settlement had not arrived at the time the vendors repudiated the contract and, as will appear, it is necessary to consider the purchasers' obligation at that time with that fact in mind. I shall return to that aspect of the matter shortly. First it is necessary to settle the question whether the purchasers were under any obligation to prove, as plaintiffs, that, notwithstanding the vendors' repudiation, they were ready and willing to perform their obligations under the contract. Of course, readiness and willingness implies not only disposition, but also capacity: *De Medina v Norman* (1842) 9 M & W 820 at 827; 152 ER 347 at 350.

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In any action for breach of contract, the readiness and willingness of the plaintiff to perform those mutual obligations remaining to be performed on his part under the contract is a condition precedent to his right to recover: see *Hensley v Reschke* (1914) 18 CLR 452. Under the old rules a plaintiff was required to plead that he was ready and willing but under the present rules that fact is implied with the effect that he is not required to prove it unless the defendant puts it in issue. In that [452] event, the burden of proving readiness and willingness rests upon the plaintiff. See *Supreme Court Rules 1970* (NSW) Pt 15, r 11. But what if the breach is anticipatory rather than actual? The authorities have given conflicting answers to this question, but it is now clear that in cases of repudiation as well as actual breach, readiness and willingness on the part of the plaintiff is part of his cause of action. The position was clearly stated in *DTR Nominees Pty Ltd v Mona Homes Pty Ltd* (1978) 138 CLR 423 at 433:

> A party in order to be entitled to rescind for anticipatory breach must at the time of rescission himself be willing to perform the contract on its proper interpretation. Otherwise he is not an innocent party, the common description of a party entitled to rescind for anticipatory breach …

Nevertheless there are those who have held a contrary view. In *Bowes v Chaleyer* (1923) 32 CLR 159 at 198, Starke J said: "No doubt, if a party repudiates a contract and the repudiation is accepted and acted upon by the other party, then the latter is relieved from proving readiness and willingness on his part to perform the contract." See also per Higgins J. A similar view was expressed in *Taylor v Oakes, Roncoroni and Co*, and by Lord Atkinson in *British and Beningtons Ltd v NW Cachar Tea Co*. And support for the proposition is to be found in the judgment of Collins MR in *Braithwaite v Foreign Hardwood Co* and in *YP Barley Producers Ltd v EC Robertson Pty Ltd* [1927] VLR 194 at 209.

The errors in these cases lay, I think, in attempting to carry too far the principle that the repudiation by one party of a contract may absolve the other party from the obligation of tendering useless performance. No doubt that principle, when it applies, may reduce the extent, or alter the nature, of the readiness and willingness which a plaintiff is required to show, but there is no reason why it should eliminate the requirement entirely. A party should not be able to sue for breach if he is unable or unwilling to carry out his part of the bargain; where, in other words, he is not the innocent party. Even where a party has been absolved by the repudiating party from performing his future obligations under the contract he must show that at the time of the repudiation he was ready and willing to complete the contract had it not been repudiated. But in proving his readiness and willingness where he has been absolved from tendering performance he may not have to prove a great deal. [453] For example, in *Cort v Ambergate Railway Co* the plaintiffs could and did prove that they were ready and willing to manufacture railway chairs in accordance with their contract at the time it was repudiated by the defendants. But they were not required to prove that they had taken steps to manufacture the chairs in order to be able to tender them.

Dixon J recognised the limited scope of the readiness and willingness required of a plaintiff in the case of anticipatory breach of a contract. In *Psaltis v Schultz* (1948) 76 CLR 547 at 560, he expressed it in this way:

> To be ready and willing to perform a contract a party must not only be disposed to do the act promised but also have the capacity to do it. But the tenor of the promise will show when and how the act is to be performed and it is to that time and mode of performance that the capacity and disposition to fulfil the promise are to be directed. It is enough that he is not presently incapacitated from future performance and is not indisposed to do, when the time comes, what the contract requires.

And in *Rawson v Hobbs* Dixon CJ returned to the question. He said (at 480–1):

> It is hardly necessary to say that once there has been a renunciation of a contract or of future performance of an essential obligation thereof by one contracting party, the other if he elects to treat that as an anticipatory breach discharging the contract is relieved from all further obligation to perform on his side and in consequence need not thereafter be

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> ready and willing to do what would otherwise be his part. But that is not the question. What is the question is whether up to that point he must not be ready and willing to proceed with the contract and, as and when the time comes to do his part, so far as it is of the essence, to perform the contract on his side…. One must be very careful to see that nothing but a substantial incapacity or definitive resolve or decision against doing in the future what the contract requires is counted as an absence of readiness and willingness. On the other hand it is absurd to treat one party as tied to the performance of an executory contract although the other has neither the means nor intention of performing his part when his turn comes, simply because his incapacity to do so is not necessarily final or logically complete.

In this case, the purchasers did not accept the vendors' repudiation of the contract but terminated the contract for actual breach. But the vendors' implied intimation to the purchasers that [454] there was no point in their attempting to tender the purchase price on the due date was sufficient to alter the nature of the readiness and willingness which the purchasers were required to prove, that being put in issue by the vendors. They were not required to show that upon the day stipulated for settlement they were ready and willing to tender the purchase price. They were absolved from the obligation of placing themselves in a position to be able to tender the purchase price upon that day by reason of the representation of the vendors two days earlier. All that the purchasers were required to show was that at the time of the repudiation, that is, at the time they were absolved from future performance, there was not a "substantial incapacity" on their part or a "definitive resolve or decision" against the performance of their obligations.

The question whether the purchasers satisfied this onus is not without some difficulty because the trial judge directed his attention to the situation on the date stipulated for settlement rather than the situation two days before. However, the purchasers did not have to prove that they could have raised the amount needed to complete the financing of their purchase by the time stipulated for settlement. They merely had to prove that, at the time of the defendants' repudiation, two days before the settlement date, they were not incapacitated from raising that amount and had not resolved or decided against doing so. That was a relatively light burden to discharge and, upon the evidence, I think that the plaintiffs did discharge it. There is nothing in the trial judge's findings which requires a contrary conclusion.

Treating the situation as one giving rise to an estoppel, it can be seen that the vendors, by indicating their inability to settle and their intention of not doing so, represented to the purchasers that they did not require them to tender the purchase price and would not hold them in breach of contract for not doing so. The purchasers in reliance upon the representation did not tender the balance of the purchase price and would, upon the date fixed for settlement, have been in breach of contract if the vendors had not been estopped from denying the truth of their representation. Thus, in relying upon the vendors' representation the purchasers placed themselves at risk of non-performance – in a position of detriment – unless the vendors were kept to their word. The vendors were estopped. Had the purchasers pursued their claim for damages, the question may have arisen whether, notwithstanding that at the time of the vendors' repudiation they were ready and willing to proceed with the contract and to perform their future obligations as they fell due, the purchasers were nevertheless unable to prove their loss. Subsequent events may have established that the balance of the [455] purchase price was unavailable to them by the time settlement was due: compare The *Mihalis Angelos* [1971] 1 QB 164. Had the purchasers claimed damages and been unable to prove their loss for this reason, they would have been entitled only to nominal damages.

But the purchasers seek only to recover the deposit paid by them. That is not a claim for damages. It is a claim for money had and received and is based upon an imputed promise to repay, the money having been paid for a consideration that has wholly failed. The purchasers are entitled to the return of the deposit.

I would allow the appeal.

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[25.20] MASON CJ [delivered a long judgment in which he reviewed the authorities in detail. He came to substantially the same conclusion on the law as did Dawson and Brennan JJ, and, with the exception of the point dealt with in the extract of the judgment of Deane J below, as did Deane J. His Honour, however, took a different view of the evidence, which he thought necessarily led to the conclusion that the purchasers would not have been able to raise the purchase price by the day on which they purported to discharge the contract even if they had continued to make every effort to obtain the necessary funds. His Honour said]: [408] Accordingly, in relation to termination for actual breach, the principle is that established by their earlier decisions – the plaintiff is required to show that he was ready and willing to perform the contract if it had not been repudiated by the plaintiff. In other words, the requirement is that the plaintiff be ready and willing to perform except to the extent that the defendant dispensed with his performance. In the case of an anticipatory renunciation accepted by the plaintiff, the requirement of readiness and willingness extends only up to the time of acceptance because then the earlier repudiation results in an early termination of the contract. Accordingly, in the case of actual breach the requirement of readiness and willingness is more stringent; it continues through to the time for performance. That is because the termination of the contract does not antedate the time for performance. Subject to this difference and to the possibility of a difference in the onus of proof, the principle to be applied in the case of actual breach is consistent with that to be applied on the case of termination for anticipatory breach. The difference in the onus of proof arises because in the case of termination for anticipatory breach the plaintiff will generally be able to show at the time of termination that he would have been able to perform at the time for performance by demonstrating that he was not then disabled or incapacitated from [409] such performance. As Dixon CJ noted in *Rawson v Hobbs* at 481 one "must be very careful to see that nothing but a substantial incapacity or definitive resolve or decision against doing in the future what the contract requires is counted as an absence of readiness and willingness". However, in the present case, the anticipatory breach of the vendors was not accepted. The case is one of termination for actual breach. The time for determining whether or not the purchasers would have been ready and willing to perform the contract had it not been for the dispensing conduct of the vendors is therefore the time for performance. The purchasers have not discharged the onus of showing that at that time they would have been so ready and willing. It follows that the purchasers are unable to justify their termination by reference to the ordinary principles of contract law. It is necessary now to turn to the doctrine of estoppel in order to ascertain whether the application of that doctrine enables the purchasers to succeed …

[412] The same principle [of estoppel] may be applied to the purchasers in this case if they acted to their detriment on the faith of the representation by not tendering performance on 22 June. The estoppel would operate to protect the purchasers from a claim by the vendors that the purchasers' failure to tender performance constituted a breach of contract and, as well, to enable the purchasers to maintain their termination of the contract on the footing that the vendors, not the purchasers, were in breach of the contract.

This brings me to the question whether the purchasers acted to their detriment in reliance upon the vendors' representation. The purchasers acted in reliance upon the representation by not continuing their efforts to procure finance and by not tendering performance on 22 June. Whether they did so to their detriment is the critical issue. If, in any event, quite apart from the making of the representation, the purchasers would have been unable to tender performance on that date, due to the inadequacy of their financial resources, there can be no basis for concluding that they were induced by the representation to act to their detriment …

[413] My conclusion adverse to the purchasers on the issue of readiness and willingness denies that the purchasers sustained a relevant detriment in consequence of their reliance upon the representation. Although it might be true to say that, as a result of the vendors' intimation, the purchasers lost the chance of tendering the purchase price and therefore were subjected to the requirement that they demonstrate that they would have been ready and willing to perform but for that intimation, the evidence reveals that that chance would have come to nothing. The purchasers cannot by invoking

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the doctrine of estoppel avoid the need to show that the vendors' conduct caused them not to perform the contract. The contract went off for two reasons: first, because the purchasers lacked the financial resources to complete on the appointed day; secondly, because the vendors were unable to complete on the appointed day as the right of way could not be registered in time. Accordingly, the failure of the contract was as much due to the purchasers' incapacity as that of the vendors. But in order to terminate the contract the purchasers needed to show that the vendors were at fault. The consequence is that the purchasers did not validly terminate the contract. In this situation it might at first seem just and fair that the purchasers should recover their deposit but it is conceded that, if the purchasers did not validly terminate, the vendors' later termination of the contract was valid and it was not contested, in this event, that the purchasers' claim to recover the deposit should fail. In any case, so long as the contract continued on foot, it governed the relations between the parties and there is no basis in these circumstances for an appeal to the law of quasi-contract. In the result I would dismiss the appeal.

[25.25] BRENNAN J [also delivered a long judgment in which he reviewed the authorities and relevant principles in considerable detail. The judgment is extracted on several specific points]: [416] When a promise is an essential term of a contract, an announcement by the promisor before the time for performance arrives that he will not perform the promise is an anticipatory breach amounting to a repudiation of the contract conferring on the promisee a right to rescind the contract. It is unnecessary, in my opinion, that an anticipatory breach be classified as "fundamental" in any other respect in order to amount to a repudiation: but cf per Lord Diplock in *Afovos Shipping Co v Pagnan* …

[425] In *Rawson v Hobbs* at 418 Dixon CJ expressed a caution against lightly finding a party not to be ready and willing:

> One must be very careful to see that nothing but a substantial incapacity or definitive resolve or decision against doing in the future what the contract requires is counted as an absence of readiness and willingness. On the other hand it is absurd to treat one party as tied to the performance of an executory contract although the other has neither the means nor intention of performing his part when his turn comes, simply because his incapacity to do so is not necessarily final or logically complete.

To speak of an incapacity which is "substantial" and of a resolve or decision which is "definitive" is to import a test of degree. A test of degree inevitably gives rise to differences in the evaluation of facts and produces some uncertainty in the resolution of concrete cases. Yet, in the great variety of circumstances to which the test might be applied, it is impossible to posit terms of greater precision. Lord Sumner's phrase — "wholly and finally disabled" — is too demanding a test of incapacity to accord with reasonable commercial practice but it is indicative of the range which the test of substantiality connotes. The test of incapacity, either as a ground of rescission or as an element of readiness and willingness, is an exacting test though it must be expressed as a matter of degree …

[427] In the light of this discussion, I would state the relevant principles thus: if an executory contract creates obligations which are mutually dependent and concurrent and, before the time for performance of the obligations arrives, one party, A, gives the other party, B, an intimation that it will be useless for B to tender performance and B abstains from performing his obligation in reliance on A's intimation, B is dispensed from performing his obligation and A's obligation is absolute provided that B had not repudiated the contract and he was ready and willing to perform his obligation up to the time when the intimation was given. It is immaterial that A's intimation amounts to a repudiation of the contract unless B terminates the contract by accepting the repudiation. If, at the time when the intimation was given, B was substantially incapable of future performance of his obligation or had already definitively resolved or decided not to perform it, B was not ready and willing. If B was not then ready and willing, A's failure to perform his obligation when the time for performance arrives is no breach of contract …

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Damages and rescission

[25.30] [430] A breach by A of an essential term of the contract entitles B to rescind the contract and to recover damages for the loss of the benefit to which, had the contract been performed, he would have been entitled. Whether the breach be anticipatory or actual, it is necessary to form an estimate of what would have happened had the contract been performed in comparison with what has happened, the contract being broken.

Where B, being otherwise ready and willing to perform his part of mutually dependent and concurrent obligations, acts on A's intimation of non-performance and does not tender performance of his own obligation, he is entitled to damages for A's non-performance. In assessing the damages, it is necessary to form an estimate of the benefit to which B would have been entitled had A performed his contractual obligation. Where, as in this case, a purchaser who has made no announcement that he will not complete and who is attempting to raise finance in order to complete when the vendor intimates that he will not complete on the stipulated day, the purchaser's entitlement to damages for the vendor's failure to complete on that day depends on two related but distinct questions: first, whether the purchaser was at the time of the intimation substantially incapable of raising the finance and, second, whether it is more likely than not that the purchaser would have succeeded in raising the finance. A reasonable prospect of a purchaser's raising finance (the converse of "substantial incapacity") suffices to show that the purchaser was ready and willing at the time of the intimation, but it does not establish that the purchaser would have been ready and willing to complete when the time for completion arrived and would have become entitled to the benefit of the completed contract. The onus is on the purchaser to establish his damages on the balance of probabilities. The readiness and willingness which must be shown by a purchaser in proof of his damages for the vendor's breach in failing to complete at the stipulated time is readiness and willingness to pay the price at that time …

[431] Readiness and willingness to pay the price when the time for completion arrives is a condition precedent to the recovery of substantial damages, but proof of that kind of readiness and willingness is not essential to establish that a vendor who has given an intimation of non-performance and who fails to perform is in breach.

The problem of assessing damages does not arise in this case, where the purchasers have purported to rescind for the vendors' breach and seek merely to recover the deposit. The finding, albeit obiter, of Needham J that the purchasers had not discharged the onus of proving readiness to complete seems to relate to the likelihood of the purchasers' having in hand on 22 June the finance needed to settle. That question does not fall for determination. Had the purchasers sought to recover substantial damages from the vendors for the vendors' failure to complete on 22 June, the purchasers' inability to prove on the balance of probabilities that they would have been able to pay the price on that day would have been fatal to the claim. But the purchasers abandoned a claim for damages for the vendors' breach.

The true question is whether, when the vendors intimated on 20 June that they could not complete on 22 June, the purchasers were already "substantially incapable" of raising the needed finance to tender on 22 June. The purchasers were undoubtedly encountering grave difficulties in raising the finance they needed — on 20 June they were perhaps $10 000 short of the amount needed to complete — but their difficulties were not so grave that in their view it was futile to continue the effort. The male purchaser's evidence not only contains an assertion that he was able to complete; it contains an expression of confidence that his mother and his bank would make up the shortfall. Though Needham J was not convinced that either source would produce the finance needed, the male purchaser apparently had a good relationship with both prospective sources neither of whom was shown to be without lending capability. Those circumstances preclude a finding that, when the vendors' solicitor intimated on 20 June that the contract [432] could not be completed on 22 June, the purchasers were substantially incapable of raising the finance needed to complete. After the vendors' solicitor intimated that completion would not take place on 22 June, the purchasers apparently acted

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upon the intimation of 20 June, suspended the arrangements with the finance company which was to provide the major part of the finance, and did not tender the balance of the price on 22 June. The facts support the inferences that the purchasers acted on the vendors' solicitor's intimation and were, up to the time when the intimation was given, ready and willing to complete. In those circumstances, the vendors' failure to complete on 22 June was a breach of contract which entitled the purchasers to rescind. The purchasers were content with the declarations made by the trial judge that the contract was validly rescinded and that they were entitled to a return of the deposit.

Recovery of deposit

[25.35] Upon rescission of the contract, the consideration for which the purchasers had paid for the deposit failed totally. The purchasers became entitled to recover the deposit not as damages but in quasi-contract as money paid for a consideration that had totally failed: see *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32. The purchasers' claim for the deposit was not founded on the contract which they rescinded.

The appeal should be allowed, the judgment of the Court of Appeal should be set aside and the judgment of Needham J restored.

[25.40] DEANE J [except for the passage extracted below, delivered a judgment generally in accordance with the principles expressed by Mason CJ and Brennan and Dawson JJ]: [437] [I]t is strictly unnecessary that I express any view on the question whether one party to a contract is precluded from rescinding it by accepting a repudiation of the contract by the other party if he is not in a position to prove that he is, or but for the repudiation would have been, ready, willing and able to perform the contract. However, in view of the discussion of that question in other judgments, it would seem desirable that I indicate that, notwithstanding some statements of authority to the contrary, I do not accept the proposition that a party must incur the expense necessary to put himself in a position where he can positively demonstrate actual or potential readiness and willingness to perform a contract before he can accept the repudiation of the other party and thereby rescind. In my view, that proposition is unjustified by either principle or common sense. Absence of actual or potential readiness or willingness to perform a contract will prima facie preclude a successful action against the other party for specific enforcement of the contract or for the recovery of damages for its breach. It does not, of itself, preclude rescission of the contract by acceptance of the other party's repudiation. Were it otherwise, the law would require the useless and futile expenditure by an innocent party of whatever time, effort or money was necessary to place himself in a position where he could positively demonstrate actual or potential ability to perform a contract in order to be able to bring it to an end on the ground that it had already been repudiated by the other party. Indeed, it is difficult to see why, as a matter of [438] principle or common sense, actual breach or even repudiation by one party to a contract should prevent that party from rescinding the contract by accepting a repudiation of the contract by the other party. Put differently, it is difficult to see why the law should insist that, even though both parties to a contract have repudiated it, the contract must hang like an albatross around their necks unless and until they reach a new agreement about its termination. The point can be illustrated by the hypothetical example of express repudiation by each party to a contract followed by acceptance of the other's repudiation and unilateral rescission of each of them. How can it be said that, in those circumstances, the law continues to require that each perform the contract?

It follows from what has been said above that the purchasers were entitled to rescind the contract. This they did. Upon rescission, the purchasers were entitled to obtain restitution of the deposit which they had paid. Their claim for the return of the deposit was not founded on the rescinded contract. Nor did it represent a claim for damages for the vendors' breach of its terms. It was a claim founded in the equitable notions of fair dealing and good conscience which require restitution of a benefit received as, or as part of, the quid pro quo for a consideration which has failed: compare per Lord Wright, *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* at 64–6; *Muschinski v Dodds* (1985) 160

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CLR 583 at 618–20. If it be necessary to clothe that claim in a nomenclature, the appropriate one in a modern context is "restitution" for, or of, "unjust enrichment". The benefit whose receipt falls into one of the categories of case which the law characterises as unjust enrichment may be actual. Alternatively, it may be constructive as, for example, where it involves full or partial performance of something requested to be done. The benefit constituting the unjust enrichment in the present case was actual in that it would seem to be common ground that the deposit which the purchasers seek to recover was actually received by or on behalf of the vendors.

If the purchasers had sustained other loss caused by the vendors' repudiation of the contract, it would have been open to them to claim damages for breach of contract. Such a claim would, however, have succeeded only if the purchasers could discharge the onus of establishing that such further loss had been in fact sustained by them and had been caused by the vendors' breach. The learned trial judge's finding that the purchasers had not established on the balance of probabilities that they would, but for the vendors' [439] repudiation, have been able to complete the contract would, while it stands and subject to the possible effect of any relevant estoppel, preclude them from discharging that onus. They do not, however, seek to recover such additional damages.

I would allow the appeal, set aside the judgment of the Court of Appeal and restore the judgment of Needham J.

[25.45] GAUDRON J: [458] It was said by Lord Ackner in *Fercometal v Mediterranean Shipping Co* at 805, that "[t]here is no third choice, as a sort of via media, to affirm the contract and yet to be absolved from tendering further performance unless and until [the other party] gives reasonable notice that he is once again able and willing to perform". Subject to the operation of an estoppel or waiver (as was seemingly recognised by his Lordship at 805 and as operated in *Peter Turnbull*), that is an accurate statement of the law. Thus, in the present case it was possible for the purchasers to affirm the contract and yet to be freed from tendering performance on the essential day by the vendors' waiver of the benefit of that essentiality. However, it should be emphasised that affirmation is no more than an acknowledgment of the continued existence of the contract.

In the present case the purchaser did not rescind upon receipt of the communication that the vendors were unable to settle on the stipulated day made essential for settlement by the contract. Even if it be accepted that this amounted to an election to affirm the contract, the obligations affirmed were the obligations brought into existence by the contract, namely, to settle on the day made essential by the contract. Nothing that the purchasers did following receipt of the communication amounted to a waiver of that essentiality. The consequence was that, once the day made essential had passed, the contract could no longer be performed according to its essential term and there was no consensus, as in the case of mutual waiver, to support a variation of that term. The conclusion to be drawn from that situation is that the contractual obligations had come to an end, and the notice of rescission operated to put the matter beyond dispute such as might arise in the event that no action were taken and it were to be asserted that that inaction amounted to waiver of essentiality. That being so, I agree with Brennan J that the deposit was recoverable as money paid for a consideration that wholly failed.

The appeal should be allowed, the orders of the Court of Appeal of the Supreme Court of New South Wales should be set aside and in lieu thereof it should be ordered that the appeal to that court be dismissed with costs.

[Some of the judgments also contained considerable discussion of the principles of equitable estoppel. This discussion has not been extracted as it has been largely overtaken by the views expressed by their Honours in *Commonwealth v Verwayen* at [9.80].]

Appeal allowed.

[25.48] **Notes**

1. In *Sharjade Pty Ltd v Commonwealth* [2009] NSWCA 373, Hodgson JA found that the views expressed in *Foran v Wight* as to whether an aggrieved party who seeks to terminate a contract based on the other party's anticipatory breach must show that he or she is ready and willing to perform, were made by way of obiter dicta. His Honour found that, as a matter of principle, Deane J's view is preferable (at [62]–[68]). Hodgson JA found that an anticipatory breach that amounts to repudiation should justify termination by the aggrieved party whether or not the aggrieved party was itself ready and willing to perform. According to Hodgson JA, in such circumstances, the aggrieved party needs only to establish that he or she was ready and willing to perform the contract if he or she seeks damages. Young JA (at [145] and [156]) and Sackville AJA (at [163]) agreed in principle with Hodgson JA's view but decided the case on a more traditional basis. They found that as the aggrieved party had only breached a non-essential term, the aggrieved party was entitled to terminate the contract.

2. The fact that a party who wishes to terminate has breached the contract does not generally prevent that party from terminating. There are two views as to the types of breach that will preclude termination:

   In *Lantry v Tomule Pty Ltd* [2007] NSWSC 81, [81], White J said:

   > [I]n the case of termination for breach, a party seeking to terminate for the opposite party's breach is not precluded from doing so by reason of his own breach of contract if he has not repudiated the contract, if his breach is of a non-essential term, and if there is no causal relationship between his breach and that of the opposite party (see *Nina's Bistro Bar Ltd (formerly Mytcoona Pty Ltd) v MBE Corporation (Sydney) Pty Ltd* [1984] 3 NSWLR 613 at 620 and 632; *Road Show Entertainment Pty Ltd v (ACN 053 006 269) Pty Ltd* [1997] NSWSC 473; (1997) 42 NSWLR 462 at 479-480).

   In *Sharjade Pty Ltd v Commonwealth* [2009] NSWCA 373, Hodgson JA took the view that a party in breach of an essential term is not necessarily precluded from terminating:

   > [54] A further and more difficult question is whether … a party who is also in breach of the contract … can terminate despite its own breach. The answer is that generally it can, at least unless the obligations breached are interdependent or the breach by the party wishing to terminate has caused the breach that this party wishes to rely on.
   >
   > [55] As regards the former exception, it seems clear for example that, under a contract for the sale of land, the obligation of the vendor to transfer the land and the obligation of the purchaser to pay the price on completion are mutually dependent and concurrent; and that generally neither party who fails to perform its obligation when the time for performance arrives can terminate for the other party's failure at that time to perform its obligation: *Foran v Wight*, at 396 per Mason CJ, 417 per Brennan J and 433 per Deane J. However, there is a question whether this is a true or merely apparent exception to the general position stated in the previous paragraph, because the correct analysis may be that in such a case there is no breach at all, rather than that there is an inhibition on terminating for breach.
   >
   > [56] As regards the latter exception, it seems clear that a party cannot rely on an event as a ground for terminating a contract if that event has been caused by that party's own breach of contract: see for example *Suttor v Gundowda Pty Ltd* (1950) 81 CLR 418 at 440-442, *Nina's Bar Bistro Pty Ltd v MBE Corporation (Sydney) Pty Ltd* [1984] 3 NSWLR 613, *Plumor Pty Limited v Handley* (1996) 41 NSWLR 30. The latter two

cases also decided, correctly in my opinion, that the onus of proof lies on the party resisting termination, that is, the party who wishes to assert that the event that would otherwise justify termination was caused by the party seeking to rely on that event.

[57] In the absence of such interdependence or a proved causal link, the circumstance that a party is itself in breach does not generally disentitle it to rely on the other party's breach of contract, if that breach would otherwise entitle the former to terminate: *Nina's Bar*, *State Trading Corporation of India Ltd v M Golodetz Ltd* [1989] 2 Lloyds Reports 277, *Roadshow Entertainment Pty Ltd v (ACN 053 006 269) Pty Ltd* [1997] NSWSC 473; (1997) 42 NSWLR 462. This position is assumed in the decision of the High Court of Australia in *The Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64. Even if the terminating party's breach were itself sufficient to justify termination, in my opinion the better view is that this would not of itself preclude termination by that party, so long as the terms breached were independent and the causal link referred to earlier was not established: see *Golodetz* at 285-287, *Roadshow* at 481. (This passage from *Roadshow* was quoted with approval by Powell JA, with whom Meagher JA agreed, in *Kyrwood v Drinkwater* [2000] NSWCA 126 at [154]; although opposing views have been expressed by Fitzgerald JA in dissent in that case, and by Gummow J in *Thors v Weekes* (1989) 92 ALR 131 at 143-144 and White J in *Rona v Shimden Pty Ltd* [2005] NSWSC 818; (2005) 12 BPR 23,287 at [92].)

ELECTION

[25.50] An aggrieved party faced with an event which entitles her or him to terminate the contract has a choice between terminating and continuing with, or *affirming*, the contract. The doctrine of election refers to this choice between alternative rights. Once made, an election is generally final and cannot be retracted.

There are two requirements for an election to affirm a contract:

1. knowledge of at least the facts giving rise to the right to terminate; and
2. unequivocal conduct consistent only with a choice to continue with the contract.

Tropical Traders v Goonan

[25.55] *Tropical Traders Ltd v Goonan* (1964) 111 CLR 41 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: A contract for the sale of land by Tropical Traders, the *vendor/appellant*, to Goonan, the *purchaser/respondents*, dated 6 January 1958 and of which time was of the essence (cl 12) provided that the purchase price of £47,500 was payable as to £10,000 by way of deposit (£500 before signature and the balance by 6 January), four sums of £5,000 each at 12 monthly intervals and the balance of £17,500 five years from the date of the agreement. Interest on the outstanding balance of the purchase price was payable. Clause 11 of the contract provided that if the purchaser failed to pay the deposit or any other moneys payable by the respective times, the appellant could rescind the contract and all moneys paid would be forfeited to the appellant. The balance of the deposit was paid one day late, and the first three instalments of £5,000 plus interest were paid 3, 13 and 5 days late respectively. The fourth payment was 10 days early. The balance of £17,500 was due on 6 January 1963, a Sunday. On 7 January, the respondent paid the interest due but sought an extension of three months in which to pay the balance owing. On 9 January, the appellant's solicitors wrote to the respondents confirming a telephone conversation of the previous day, the material part of the letter being: "In order to give you an opportunity of finding the money and subject to the payment of an

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additional £50 to cover further interest on (sic) the Company's costs and expenses, the Company will not take action under the contract until Monday, 14 January but this must be regarded as an act of grace on the part of the Company and without prejudice to and in no way varying the Company's right to the strict enforcement of the contract."

On 14 January, the appellant, not having received the final payment, gave notice of rescission and sought a declaration that the contract had been validly rescinded. The respondents counterclaimed for specific performance. Jackson SPJ dismissed the appellant's claim and ordered specific performance. The appellant appealed to the High Court.]

KITTO J: [51] The question for decision is whether this purported rescission was effectual. The respondents say that it was not, for reasons which may be summarised under four heads:

> (1) by accepting late payments in the years 1959, 1960 and 1961, or alternatively by accepting those late payments and then granting the extension of time for payment of the £17 500, the appellant either made the stipulation that time should be of the essence no longer applicable in respect of the £17 500 or created a promissory estoppel against insisting that the stipulation was still applicable in respect of the balance; (2) by accepting on 7 January the payment of £962 10s for interest, or alternatively by granting the extension of time to 13 January, the appellant bound itself by an election not to rescind for non-payment of the £17 500 on 6 January; (3) time never became of the essence in respect of 13 January; and (4) …

The learned judge of first instance held that by voluntarily accepting late payments in the years 1959, 1960 and 1961 the appellant indicated to the respondents and induced them to believe that the clause of the contract as to time being of the essence would not be enforced against them, and thus either "waived" the clause or created an equitable estoppel against relying upon it …

[52] [B]ut from the bare fact of the acceptance of late payments of three out of four annual instalments of £5 000 each it does not follow that in respect of the final payment of £17 500 the appellant was giving the respondents to understand that they might safely rely upon its treating cl 12 of the contract as no longer in force. I can see no justification for such a conclusion. Each acceptance of a late payment operated, of course, as an election by the appellant not to rescind the contract for non-payment of the relevant amount on its due date; but to read into the acceptances, considered either separately or as a whole, something promissory or some inducement to a belief in relation to future payments is, I think, to take an unwarranted step. It may be that repeated acquiescence by one party to a contract in non-observances by the other of stipulations as to time may amount, when considered in the light of particular circumstances, to an assent to time being treated for the future as not of the essence, notwithstanding a provision in the contract that it is of the essence; and in such a case it may not matter whether the result is described as a promissory estoppel or a waiver or a variation of the contract by mutual, though tacit, consent. But it is not a valid general proposition that wherever some instalments are accepted late without demur the party accepting them is precluded in respect of later instalments from insisting upon the agreement that time shall be of the essence … In the present case there is nothing to support the conclusion unless that general proposition be correct … It is a strong thing to place upon a few days' indulgence in respect of instalments payable during the course of a contract a construction which means that in relation to the time for completion of the payment of purchase price a stipulation that time shall be of the essence may be regarded [53] as abandoned. I do not think that such a construction can properly be placed upon the appellant's conduct in accepting the late instalments in the present case.

Nor do I think that a conclusion to the effect that cl 12 was waived or dispensed with is assisted by adding to the acceptance of late instalments the granting on 8 January of an extension of time until 13 January for payment of the balance of purchase money. On the contrary, the extension was granted with a plain intimation, both in the telephone conversation and in the letter of the following day, that the appellant was insisting upon its strict rights under the contract except to the extent of the indulgence it was offering. In the face of the letter the respondents had no reasonable ground for

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a belief that if they should fail to pay the £17 500 and an additional £50 before 14 January they could still count on being allowed further time.

The real questions which arise in relation to the granting of the extension are first whether it amounted to a binding election not to rescind for non-payment of the £17 500 on 6 January, and secondly, if it did amount to such an election, whether it was ineffectual to fix 13 January as a date in respect of which time was of the essence. In *Kilmer v British Columbia Orchard Lands Ltd* [1913] AC 319, the Privy Council proceeded on the footing that the vendor in that case could not insist that time was of the essence after having given an extension of time for payment of an instalment. The case is clear authority for the proposition that a stipulation making time of the essence may be rendered no longer applicable by the granting of an extension of time in particular circumstances; but it is not authority for the more general proposition that every grant of an extension of time deprives such a stipulation of effect for the future. Counsel had cited to their Lordships the case of *Barclay v Messenger* (1874) 43 LJ Ch 449, in which Jessel MR dealt with the effect of an extension of time under a contract making time of the essence and held that "a mere extension of time, and nothing more, is only a waiver to the extent of substituting the extended time for the original time, and not an utter destruction of the essential character of the time" (at 456). This was a pronouncement upon a point which had been one of difference between Lord Romilly and Lord Cranworth in *Parkin v Thorold* (1852) 16 Beav 59; 51 ER 698, Sir George Jessel accepting the opinion of the latter in accordance with the view of Lord St Leonards: *Sugden on Vendors and Purchasers* [54] (14th ed, 1862), p 270. It is hardly to be supposed that Lord Moulton, who delivered the judgment in *Kilmer's Case*, would have intended to overrule without even mentioning it a case which for 40 years had stood as settling a point formerly disputed at so high a level. Evidently the time clause was disregarded because of something special in the facts. That is the explanation of the case which was adopted in later cases in the Privy Council: *Steedman v Drinkle* [1916] 1 AC 275 at 279, 280; *Brickles v Snell* [1916] 2 AC 599 at 604 …

The authority of *Barclay v Messenger* is therefore unimpaired by *Kilmer v British Columbia Orchard Lands Ltd*. In *Fry on Specific Performance* (6th ed, 1921) para 1126, p 523, the case is [55] described as having decided that the letter by which the vendors there agreed to an extension of time for payment was "only a qualified and conditional waiver of the original stipulation". This, in my opinion, is an accurate way of describing the action of the appellant in the present case in allowing the respondents time to pay the final balance of purchase money. Time being of the essence the appellant became entitled, as soon as 6 January 1963 had passed, to elect for or against rescinding the contract. Any act done by it and consistent only with the continuance of the contract on foot the law would hold to constitute an election against rescinding; and an election once made could not be retracted. But the appellant was not bound to elect at once. It might keep the question open, so long as it did nothing to affirm the contract and so long as the respondents' position was not prejudiced in consequence of the delay: *Clough v London and North Western Railway Co* (1871) LR 7 Exch 26 at 34, 35; *Scarf v Jardine* (1882) 7 App Cas 345 at 360. By telling the respondents it would not rescind before Monday, 14 January, and that they would have to pay £50 for the additional accommodation to cover interest, costs and expenses, the appellant did no more than promise that it would not elect to rescind the contract before 14 January and that if the £17 500 and the additional £50 should be paid before that date the contract would stand affirmed. In the language of Fry LJ in *Howe v Smith*: "this was not a stipulation postponing the time for completion generally, but merely limiting the exercise of a consequential power" (1884) 27 Ch D 89 at 103, 104.

The granting of the extension of time, therefore, far from constituting an election by the appellant to affirm the contract, was the announcement of an intention to refrain from electing either way until either the £17 500 should have been paid or 14 January should have arrived. Not that election is a matter of intention. It is an effect which the law annexes to conduct which would be justifiable only if an election had been made one way or the other: *Scarf v Jardine*; *Craine v Colonial Mutual Fire Insurance Co Ltd* (at 325). But the solicitor's telephone message of 8 January and his letter of the 9th were not of such a nature as to be justified only on the footing of an election made, and it cannot be said that

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there were any negotiations between the parties of such a kind as to imply that the contract was not to be rescinded and accordingly was proceeding to completion …

[56] It has been contended that the appellant's acceptance of the £962 10s for interest on 7 January 1963 should be considered an election by it to affirm the contract. If the sum had included interest for any period beyond 6 January, acceptance of the payment would necessarily have implied the existence of the contract after that date and would therefore have constituted an election not to rescind. But the sum consisted only of interest for the year ended 6 January 1963. The respondents had had possession of the premises for that year, and by cl 2 of the contract the interest was made payable at the end of it. For the respondents a submission was made that the appellant could not have recovered the interest save by suing on the contract, and that therefore by accepting the payment it treated the contract as still on foot. If the payment had been of an instalment of the price, the contention might well have been correct, even though the instalment were one which the contract had made payable specifically on 6 January, for only on the basis that the appellant was still bound by the sale could he assert a right to any part of the price: see per Dixon J in *Automatic Fire Sprinklers Pty Ltd v Watson* (1946) 72 CLR 435 at 464, 465 … But the right to interest on unpaid purchase money is correlative with the right to possession. The interest is analogous to a sum for rent or use and occupation. Accordingly the £962 10s being interest in respect of a completed period of possession, would have been recoverable by the appellant even after an election to rescind: compare *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457 at 476. By accepting payment of it, therefore, the appellant did not elect against terminating the contract …

A declaration that the contract was validly rescinded by the appellant on 15 January 1983 should be made, and the respondent's counterclaim for specific performance be dismissed; but the action should be remitted to the Supreme Court to enable consideration to be given to the question of granting the respondents on equitable terms relief against the forfeiture of the purchase moneys paid: see *Steedman v Drinkle* [1916] 1 AC 275.

[TAYLOR and MENZIES JJ in separate judgments stated their agreement with KITTO J.]

Appeal allowed.

Immer (No 145) v Uniting Church in Australia Property Trust (NSW)

[25.60] *Immer (No 145) Pty Ltd v Uniting Church in Australia Property Trust (NSW)* (1993) 182 CLR 26 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: The Uniting Church in Australia Property Trust (NSW) (the *Trust*), the respondent, was entitled to excess air space rights in relation to an historic building in Pitt Street, Sydney which it proposed to refurbish. Under the Sydney City Council's policy on transferable floor space, the Trust was entitled to transfer the rights so that the space could be incorporated in development on some other site, subject to a requirement that it first complete the refurbishment to the satisfaction of the Council. The Trust agreed to sell its rights to Immer (No 145) Pty Ltd (*Immer*), the appellant. If the Council's approval was not granted by 1 April 1989, Immer was entitled to rescind the contract. The Trust did not complete the refurbishment by that date. On 26 June 1989, Immer's solicitor, in the mistaken belief that the Council had approved the transfer, sent to the Trust's solicitor documents for settlement including a draft deed of assignment containing a recital that "the Council has approved the said transfer subject to this Deed". On 25 August 1989, after discovering that the refurbishment had not been completed, Immer gave the Trust notice of rescission on the ground that the transfer of the rights had not been approved by the specified date.

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The Court of Appeal held that Immer was bound by the deed of sale and was obliged to complete the purchase on the ground that, by its letter of 26 June forwarding a draft deed of assignment for execution by the Trust, it had elected to affirm the contract. Immer appealed to the High Court.]

DEANE, TOOHEY, GAUDRON and MCHUGH JJ: [32] This appeal concerns the question whether the purchaser under an agreement for sale abandoned its contractual right to rescission and elected to affirm the agreement. As the agreement was for the sale of "air space", it is necessary to say something about the subject matter.

Air space

Air space is the subject of two documents emanating from the Sydney City Council ("the Council"): "Transferable Floor Space: Summary of Council's Present (Interim) Policy" and "Development Control and Floor Space Ratio Code". For present purposes the operation of these documents is sufficiently explained in the judgment of the primary judge, Young J:

> It would appear that, under the town planning codes of this city, provisions have been made for buildings to have a maximum floor space ratio. However, there is also a provision that where there is an historic building, which cannot utilize the ratio to advantage, it is possible to transfer the overplus to some other site, either an adjacent site or a site in the same precinct. It would appear that the reason for this is that funds can be provided to the owner of the historic site to preserve the building and at the same time other land in the city will become more valuable because it will be able to bear a higher building. It would seem that there is a market in the city for these bonus floor site ratios and the present transaction is an illustration of what happens ….[40]

Was there an election?

… Immer accepted that it could have been held to an election without awareness of the legal situation which would have allowed it to rescind, but said that it could not have been so held unless it was aware of the facts giving rise to the right to avoid the deed. In this regard it pointed to the judgment of Mason, Brennan, Deane and Dawson JJ in *Khouryo v Government Insurance Office (NSW)* (1984) 165 CLR 622, at pp 633–4:

> It would seem however that, at least where the alternative rights arise under the terms of the one contract, a party may be held to have elected to affirm it notwithstanding that he was unaware of the actual right to avoid it … Even in such a case however, the party alleged to have elected to affirm the contract must be at least aware of the facts giving rise to the right to avoid the contract.

[41] On this basis, Immer argued that on 26 June 1989 it was not aware of the facts giving rise to its right to rescind the agreement because it did not know that the Council was actively asserting that the relevant permission had not been given. The answer to this submission is that the evidence does not support a conclusion that Immer was unaware of the fact giving rise to the right to rescind under cl 7 of the deed, that is to say, the fact that "approval" had not been "granted by 1.4.89". Nonetheless, Immer's mistaken belief that the approval of the City Council had been given at some subsequent time is, as will be seen, relevant to the question whether it lost the right to rescind the deed by reason of an election to affirm it.

The true nature of election is brought out in this sentence from the seminal work of Spencer Bower and Turner, *The Law Relating to Estoppel by Representation* 3rd ed (1977), p 313: "It is of the essence of election that the party electing shall be "confronted" with two mutually exclusive courses of action between which he must, in fairness to the other party, make his choice." When Immer's solicitors wrote their letter of 26 June 1989, the date 1 April 1989 in cl 7 of the deed had passed. It was then open to Immer, as purchaser, to rescind the deed, subject to any question that might arise as to whether rescission could be effected peremptorily or only after reasonable notice. Can it be

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said that Immer was then confronted with two mutually exclusive courses of action between which it must choose? Were its actions consistent only with an intention to keep the agreement on foot and inconsistent with the exercise of the right to rescind? (While cl 7 of the deed spoke of "rescind", strictly the right conferred on Immer by that clause was a right to terminate the contract: see *Cheshire and Fifoot's Law of Contract*, 6th Aust ed (1992), par 2104.)

If a party to a contract, faced with the choice of terminating the contract or keeping it on foot, terminates the contract that party will ordinarily have acted in a way that leaves no doubt as to the choice made. And that choice will be clearly inconsistent with the exercise of the right to keep the contract on foot because the contract no longer exists. But where, as here, the situation is the converse the question is not answered so readily. Immer was proceeding on the footing that the Council had approved the transfer of air space rights and that completion of the transfer was possible. Mr Dixon-Smith wrote the letter of 26 June 1989 in that belief. But it was not the case. Not only was it not the case but Mrs Dale would have been aware at the time she received the letter that it was not the [42] case and that restoration and refurbishment of Pilgrim House was still a condition of that approval being obtained.

As Spencer Bower and Turner point out in the passage quoted earlier, at the heart of election is the idea of confrontation which in turn produces the necessity of making a choice. But in a case such as the present one, the choice is not merely one of affirming the agreement; it involves as well the abandonment of the right to rescind. Abandonment is more readily inferred in some circumstances, for instance where the choice arises once and for all. Here, by reason of cl 7 of the deed, Immer was entitled at any time after 1 April 1989 to rescind the deed. There is of course a danger of circularity here because the Uniting Church says: "Yes, so long as Immer did not elect not to rescind." The point is that where the right to rescind is a continuing one, it is not so readily concluded that the party entitled to rescind has abandoned that right completely as opposed to taking no action to exercise the right at the time in question.

There can be no doubt that when Mr Dixon-Smith wrote the letter of 26 June 1989 it was Immer's understanding that the Council had approved a transfer of air space rights and that there was no obstacle to early completion on the transaction. That is manifest from the correspondence. In *Tropical Traders Ltd v Goonan* (1964) 111 CLR, at p 55 Kitto J commented: "Not that election is a matter of intention. It is an effect which the law annexes to conduct which would be justifiable only if an election had been made one way or the other." On the other hand, in *Sargent v ASL Developments Ltd* (1974) 131 CLR, at p 656 Mason J said of the elements essential to the making of a binding election:

> The question is complicated because in some instances election may take place as a matter of conscious choice with knowledge of the existence of the alternative right and in other cases it may occur when the law attributes the character of an election to the conduct of a party.

But, in drawing this distinction, Mason J was focusing on the dichotomy between awareness of the right to rescind and awareness of the facts giving rise to the right. We do not read that passage from his Honour's judgment as implying that a party to a contract who is aware either of the right to rescind or of facts giving rise to a right to rescind will necessarily be held to have elected to affirm a [43] contract if he or she acts on the basis that the contract remains on foot. Such an implication is at odds with the notion of being confronted with the necessity of making a choice. In the present case it cannot truly be said that Immer was confronted with the necessity of making a choice at the time the letter in question was written, even less that it was abandoning for all time its rights under cl 7 of the deed.

The evidence indicates that the solicitors for Immer and the Uniting Church both assumed that the letter of 29 March 1989 which notified the City Solicitor's approval of the deed but did not mention the requirement that the restoration work on Pilgrim House be completed meant that the approval of the Council was a formality. Be that as it may, the forwarding by Immer's solicitors on 26 June 1989 of documents for settlement, including the draft deed of assignment reciting the approval of the Council, was clearly on the basis that the Council had, by then, approved. In a context where

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the Council had not, in fact, approved the transfer and where the stage had not been reached where Immer was required to make an election either to rescind the contract or to abandon the right to rescind, the forwarding of the documents for settlement did not constitute an election to affirm the contract regardless of whether the Council had or had not approved.

The letter of 26 June 1989 and Immer's actions at the time were consistent with Immer being prepared to continue with an agreement which it understood to be ready for completion and because of which it did not direct attention to its rights under cl 7. No prejudice was caused to the Uniting Church by Immer's actions; the possibility of rescission was due to the Church's inability to obtain the approval for the Council to the transfer of air space rights, an approval which was not obtained until September 1990.

In our view Immer's actions in and about June 1989 did not constitute an election on its part not to exercise its right of rescission.

[25.65] BRENNAN J: [30] A basic requirement of an election between alternative rights arising under a contract is that the party electing should know the facts which give rise to those rights (*Khoury v Government Insurance Office* (NSW) (1984) 165 CLR 622, at pp 633–4) or, perhaps, at least be taken to have known of those facts. Immer must have known on 26 June that the time limited by cl 7 had expired without a grant of approval and that it was entitled under cl 7 to rescind the deed. But Immer's letter was written on the footing that the Trust was then in a position to complete the transfer as evidenced by par C of the Recitals in the draft deed. If the letter of 26 June were an election not to rescind, it was an election sub modo, conditional upon the Trust's ability to complete the transfer at that time. The letter cannot be construed as an unqualified election to affirm the contract whether or not the Trust was in a position to complete the transfer. If the Trust was not then in a position to complete the transfer, the qualification was not satisfied, and there was no election.

An act amounting to an election must be unequivocal: *Matthews v Smallwood* [1910] 1 Ch 777, at p 786; *P Samuel & Co Ltd v Dumas* [1924] AC 431, at p 477; *Brown v Smitt* (1924) 34 CLR 160, at p 168; *Elder's Trustee & Executor Co Ltd v Commonwealth Homes & Investment Co Ltd* (1941) 65 CLR 603, at p 616. Where a contract can be terminated at the option of a promisee, the right to terminate is not necessarily lost by the promisee doing any act consistent with the continuance of the contract. If the act is also consistent with the reservation of a right to terminate in certain events, the right to terminate is not lost by the doing of the act. Thus, in *Tropical Traders Ltd v Goonan* (1964) 111 CLR 41, at p 55 a vendor who was entitled under the general law to rescind a contract for the sale of land by reason of the purchaser's failure to complete within the time limited, time being of the essence of the contract, did not lose its right to rescind by giving the purchaser additional time. By promising to affirm the contract if the price and an additional sum were paid by a later date, the vendor was held not to affirm the contract but merely to limit the exercise of its power to rescind. Although Immer made no further bargain with the Trust, Immer's solicitors' letter enclosing the draft deed of assignment containing Recital C could not be construed as an election to affirm the contract but merely as an intimation that, if the Trust was in a [31] position to complete, Immer was not intending to exercise its right to rescind. Immer did not elect on 26 June not to rescind even if the Trust were unable to complete the transfer. After the Council's advice on 29 June that the Trust was not in a position to complete the sale, further representations were made to the Council to obtain approval of the transfer.

Once the Council's decision of 14 August specifying the conditions of approval was communicated to Immer's solicitors, Immer elected to rescind. Nothing that occurred after 26 June altered the situation until Immer elected to rescind on 25 August. In *O'Connor v SP Bray Ltd* (1936) 36 SR (NSW) 248, at pp 261-2, Jordan CJ said in reference to alternative rights conferred by a contract (see [also] *Sargent v ASL Developments Ltd* (1974), 131 CLR 634, at p 645, per Stephen J):

> where there has been no intimation of avoidance, the question whether delay, after knowledge of the facts giving rise to avoidability, or things said or acts done during the delay, constitute such an election to go on with the contract as puts an end to the right to

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> avoid, depends upon "the length of the delay and the nature of the acts done during the interval, which might affect either party, and cause a balance of justice or injustice in taking the one course or the other, so far as relates to the remedy": *Lindsay Petroleum Co v Hurd* (1874) LR 5 PC 221, at p 240. This is the position, also, when it is sought to rely on acts done as constituting an irrevocable election not to avoid: (ibid); *Abram SS Co v Westville Shipping Co* [1923] AC 773, at pp 779, 789; *Torrance v Bolton* (1872) LR 8 Ch App 118, at p 124; and it appears to be the position, where it is sought to rely on things said, where these are not so express and explicit as to entitle the other party to rely on them as an affirmance: *Brown v Smitt* (1924) 34 CLR, at pp 167–8. Where a promisor or a promisee has the right to elect which of alternative promises he will perform or enforce, according to where the right of choice may lie, an intimation of election is irrevocable; but this is because the intimation is, in effect, an acceptance which determines the nature of a contractual right: *Leake on Contracts*, 6th ed (1911), pp 485–7.
>
> It would appear, therefore, from the authorities, that an intimation of an election between alternatives of itself produces no irrevocable results, except in cases where the intimation, of itself, produces legal consequences independently of any question of election, or where it is necessary that the choice [32] should be treated as irrevocable, in order to do justice to the other party (cf *Ward v Day* (1863) 4 B & S 337, at p 352 [122 ER 486, at pp 491–2]).

Neither of the excepted cases applies here.

It was obvious that at no time prior to Immer's notice of rescission on 25 August had it elected to affirm the contract without the Trust's being able to complete the transfer. It was obvious also, once the Council's resolution of 14 August was passed, that Immer was entitled then to exercise its right to rescind under cl 7. It exercised that right and the contract was thereupon terminated.

I would allow the appeal, set aside the order of the Court of Appeal and restore the judgment and orders of Young J.

Appeal allowed with costs.

ESTOPPEL

[25.70] The exercise of a right to terminate a contract may, like other legal rights, be restricted by equitable estoppel. An aggrieved party may be estopped from terminating a contract where he or she has induced the other party to believe that the contract will not be terminated in the circumstances that have occurred, and the other party has relied on that assumption to his or her detriment. See further Chapter 9 and *Legione v Hateley* (1983) 152 CLR 406, extracted at [25.85].

WAIVER

Agricultural and Rural Finance Pty Ltd v Gardiner

[25.75] *Agricultural and Rural Finance Pty Ltd v Gardiner* [2008] HCA 57; (2008) 238 CLR 570 (High Court of Australia) – Appeal from the Full Court of the Supreme Court of New South Wales.

[FACTS: Agricultural and Rural Finance Pty Ltd (the lender) loaned money to Mr Gardiner so that he could participate in an agricultural project. Mr Gardiner also entered into indemnity agreements

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with an associated company of the lender, Oceanic Agricultural Ltd (the indemnifier). Under the terms of the indemnity agreements, the indemnifier agreed to indemnify the borrower against any demand by the lender for repayment under the loan agreements where the borrower ceased to participate in the agricultural project for one of the reasons specified in the indemnity agreements. Further, the loan agreements themselves provided that the lender was unable to have recourse to the borrower if the indemnity was effective and enforceable.

Clause 2 of the indemnity agreements made punctual payment of the loan agreement a condition of the enforceability of the indemnity agreement. Mr Gardiner had failed to make punctual payments. A term of the loan agreements gave the lender the right to accelerate the obligation to pay in these circumstances. The lender did not enforce this term and Mr Gardiner eventually met his obligations under the loan agreements. When the agricultural project collapsed, Mr Gardiner sought to rely on the indemnity agreements. The indemnifier asserted that it was not bound to indemnify Mr Gardiner because the condition in cl 2 of the indemnity agreement had not been satisfied. In response, Mr Gardiner argued that the indemnifier had waived its right to rely on cl 2. Mr Gardiner relied on four separate events in support of his "waiver" argument. First, he asserted that Mr Lloyd (the indemnifier's managing director) had made oral representations that the borrower would receive reminder notices. Second, he asserted that Mr Lloyd had told him that he "need not be concerned about the indemnity". Third, he claimed that Ms Edwards (who worked for the lender) had told him "there would be no adverse consequences as a result of the delay in payment". Finally, he relied on a letter sent by Ms Edwards that stated "as [the lender] failed to send reminder notices we will accept payment as 'on time' up until 30 June 1999". On credit grounds, all five judges did not accept that the first three events had occurred, at least in the manner as described by Mr Gardiner. Their Honours accepted that the fourth event took place, but held that Ms Edwards was speaking for the lender, not the indemnifier.

The trial judge rejected Mr Gardiner's waiver argument and found for the indemnifier. In the Full Court of the Supreme Court of New South Wales, Spigelman CJ found for Mr Gardiner. His Honour held that the requirement for punctuality of payment is met when the lender accepts the payment as constituting punctual payment. Basten JA found that Mr Gardiner's obligations under the loan agreements had been varied and that, as a result, he had made punctual payment. As the indemnity agreements and loan agreements were interlocking, Mr Gardiner was also to be treated as having made punctual payment for the purposes of the indemnity agreements. Handley AJA held that the conditions in the indemnity agreements had not been satisfied and that the lender should be able to recover directly from the borrower. Mr Gardiner appealed to the High Court.]

GUMMOW, HAYNE and KIEFEL JJ: [39] [T]he Borrower did not pay punctually amounts due under the … loan agreements. It also follows that, subject to the plea of waiver, the indemnity agreements made in respect of those loans were not "effective and enforceable". It is necessary to deal now with the plea of waiver…

The plea of waiver

[49] The Borrower submitted that there was a "waiver" in one or more of three different senses: an election between inconsistent rights; an application of the common law doctrine of forbearance; or the abandonment or renunciation of a right. The Borrower accepted that the plea of waiver was not a plea which sought to allege that there had been a variation of any relevant agreement, or that the doctrine of promissory estoppel was engaged. There was no consideration for a variation of agreement. There was no detrimental reliance for a promissory estoppel.

[50] As the Borrower's submissions implicitly accepted, "waiver" is a word applied in a variety of senses. Leading scholars have long cautioned against, even condemned, its use. Roscoe Pound, in his Foreword to Ewart's work *Waiver Distributed*, described (*Ewart, Waiver Distributed* (1917), p v) waiver as one of a number of "solving words" which are "but substitutes for thought" and as one of a number of "pseudo-conceptions" or "soft spots in what appears a hard legal crust". ... And Corbin spoke ("Conditions in the Law of Contract"(1919) 28 *Yale Law Journal* 739, 754) of waiver as a word of "indefinite connotation" which "like a cloak … covers a multitude of sins".

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[51] Waiver has often been used in senses synonymous with election or estoppel. It has been suggested (see, eg, *Finagrain SA Geneva v P Kruse Hamburg* [1976] 2 Lloyd's Rep 508 at 534 per Megaw LJ) that waiver is indistinguishable from one or other of those doctrines. Sometimes, although expressed in terms of waiver, the reasoning adopted in cases reveals the elements for applying a more specific principle, typically election (see, eg, *R v Paulson* [1921] 1 AC 271 at 280, 283; *Motor Oil Hellas (Corinth) Refineries SA v Shipping Corporation of India (The Kanchenjunga)* [1990] 1 Lloyd's Rep 391 at 397-398) or estoppel (See, eg, *Enrico Furst & Co v WE Fischer Ltd* [1960] 2 Lloyd's Rep 340 at 349-350; *WJ Alan & Co Ltd v El Nasr Export & Import Co* [1972] 2 QB 189 at 213). And it may be that in cases of the several kinds last mentioned, the term is used as no more than a conclusionary word stating the consequences of the operation of that more specific principle, rather than as indicating the application of any distinct and independent principle.

[52] Nonetheless, it is clear that there are cases in which the word has been used in senses other than those embraced by principles of election, estoppel or variation of contract. So, for example, waiver has been used in the sense of rescission where what has occurred is "an entire abandonment and dissolution of the contract" (*Mulcahy v Hoyne* (1925) 36 CLR 41 at 53 per Isaacs J, citing *Price v Dyer* (1810) 17 Ves Jr 356, 364; 34 ER 137, 140). It has been used in connection with a party not insisting upon a term of a contract which is identified as a term for that party's sole benefit (See, eg, *Mulcahy v Hoyne* (1925) 36 CLR 41 at 55 per Isaacs J; at 58 per Starke J; *Gange v Sullivan* (1966) 116 CLR 418 at 429 per Barwick CJ). And from time to time "waiver" has been used (See, eg, *Bacon v Purcell* (1916) 22 CLR 307 at 312; *Embrey v Earp* (1890) 6 WN (NSW) 130 at 131) to describe some modification of the terms of a contract without the formalities, or consideration, necessary for an effective contractual variation. ...

[55] In the present case, the term "waiver" was used to denote three different principles … Those principles were described as election, forbearance and abandonment or renunciation. It is convenient to deal with them in that order.

Election?

[56] In this Court an intentional act, done with knowledge, whereby a person abandons a right by acting in a manner inconsistent with that right has been described as the "waiver" of that right (*Craine v Colonial Mutual Fire Insurance Co Ltd* (1920) 28 CLR 305 at 326; *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641 at 658 per Latham CJ.). But as later demonstrated (*Elder's Trustee and Executor Co Ltd v Commonwealth Homes and Investment Co Ltd* (1941) 65 CLR 603 at 616-619 per Rich A-CJ, Dixon and McTiernan JJ; *Owendale Pty Ltd v Anthony* (1966) 117 CLR 539 at 556-557 per Windeyer J; *Sargent v ASL Developments Ltd* (1974) 131 CLR 634 at 641 per Stephen J; *Verwayen* (1990) 170 CLR 394 at 406-407 per Mason CJ. See also *O'Connor v SP Bray Ltd* (1936) 36 SR (NSW) 248 at 257-264 per Jordan CJ), many such cases are applications of the doctrine of election between inconsistent rights…

[58] The doctrine of election is long established at common law. As Jordan CJ pointed out in *O'Connor v SP Bray Ltd* (1936) 36 SR (NSW) 248 at 257, "[s]ince the days of the Year Books it has been recognised that you cannot have the egg and the halfpenny too". If, then, something happens which gives rise to the existence of two alternative rights, and one of those rights is satisfied, the other is no longer available. A breach of contract by one party always gives the other party a right to recover damages for the breach. If serious, the breach will give the innocent party the right to treat the contract as at an end. But the innocent party need not accept the repudiatory breach and avoid the contract; the innocent party may choose to insist upon further performance. And as *Craine v Colonial Mutual Fire Insurance Co Ltd* (1920) 28 CLR 305 shows, the exercise, despite knowledge of a breach entitling one party to be discharged from its future performance, of rights available only if the contract subsists, will constitute an election to maintain the contract on foot…

[63] … [T]here are aspects of the present case which fall entirely within an orthodox application of the doctrine of election between competing rights. In particular, when the Borrower failed to make a payment punctually, ARF had the option to accelerate the time for repayment of the balance

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outstanding under the loan agreement. ARF did not exercise that option and, in the letter of 2 June 1999, said (in effect) that it would not exercise that right on account of the amount then outstanding, if payment was received by 30 June of that year. Instead ARF accepted the Borrower's subsequent tender of (unaccelerated) performance according to the contract and ARF thereby elected not to exercise the right to accelerate the time for repayment. Had it attempted to do so in the period between 2 June and 30 June a case of estoppel may well have been made out. But ... ARF's election not to accelerate did not deny the fact of breach by the Borrower. On the contrary, the premise for analysis of these events as an election by the Lender is that the Borrower had not made due and punctual payment.

[64] It is next necessary to recognise that the election made between inconsistent rights which has just been identified was an election made by the Lender — ARF. Contrary to the premise that necessarily underpinned the Borrower's submissions about election, there was no election made by the Indemnifier — OAL. Even if the letter of 2 June 1999 were to be treated as OAL's letter, OAL made no election because the Borrower's lateness of payment gave OAL no choice between competing rights.

[65] As has already been noticed, a condition of OAL's liability on its indemnity was that the Borrower had punctually paid amounts due under the loan agreements. The Borrower's failure to pay punctually gave OAL no choice between terminating the indemnity agreements for breach and insisting upon future performance. It gave OAL no such choice because the Borrower was not obliged by the indemnity agreements to pay the Lender punctually. The Borrower's *obligation* for punctual performance was imposed by the loan agreements. It was an obligation which the Borrower owed to the Lender, not OAL. OAL was not a party to the loan agreements. The Borrower's failure to pay punctually gave OAL no claim against the Borrower for breach of the loan agreements. That the Lender, ARF, was a party to the indemnity agreements and that the Borrower and the Indemnifier were also parties to Licence and Management Agreements made with the Trustee of the project which, among other things, obliged the Borrower to comply with the loan agreements, neither require nor permit a different conclusion.

[66] The indemnity agreements assumed the existence of the obligation to pay punctually and attributed consequences according to whether the obligation was met. But the indemnity agreements did not oblige the Borrower to pay punctually. OAL was therefore not in a position where *it* could choose between insisting upon future performance of the loan agreements and accelerating the time for the discharge of those agreements by requiring repayment of all that was outstanding. And because the Borrower owed the Indemnifier no obligation under the indemnity agreements, other than the obligation to pay the indemnity fee, OAL could make no choice between insisting upon the Borrower performing future obligations under those agreements and bringing the agreements to an end.

[67] It follows that, in so far as the Borrower submitted that OAL had made any election between competing rights, the Borrower's submission should be rejected.

Forbearance?

[68] The Borrower submitted that the common law has long recognised a doctrine (described as waiver, or forbearance from exercising a contractual right) that is distinct from cases of contractual variation, election between inconsistent rights, estoppel or what the Borrower called "the unilateral renunciation or abandonment of a right or benefit where a party acts in a manner inconsistent with the maintenance of that right or benefit".

[69] In support of its submission that the matters alleged in the particulars of the plea of waiver engaged a principle identified as forbearance from exercising a contractual right, the Borrower relied on a number of decisions in which a party's conduct had been held to disentitle it from insisting upon a condition of performance. Those cases included three to which particular reference must be made: *Ogle v Earl Vane* (1868) LR 3 QB 272, *Panoutsos v Raymond Hadley Corporation of New York* [1917] 2 KB 473 and, in this Court, *Electronic Industries Ltd v David Jones Ltd* (1954) 91 CLR 288.

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[70] Each of these cases was said to be an example of the common law's response to the concern that a party not approbate and reprobate and of a doctrine which "operates where a party in an existing contractual relationship (the promisor) agrees not to enforce a condition, or right, and the other party (the promisee) acts upon the basis that the condition is not being enforced".

[71] Expressed in those terms, the proposition for which the Borrower contended seems little different from estoppel. The reference to an *agreement* not to enforce was evidently intended to encompass cases where the promisor *represented* that a contractual condition would not be enforced. And the reference to the other party, the promisee, acting upon the basis that the condition is not being enforced seems to evoke notions of detrimental reliance identical to those referred to by Dixon J in *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641 at 674 that the party asserting the estoppel "must have so acted or abstained from acting upon the footing of the state of affairs assumed that he would suffer a detriment if the opposite party were afterwards allowed to set up rights against him inconsistent with the assumption". Yet the Borrower submitted that forbearance differs from estoppel and accepted that, in this case, his pleading did not raise any defence of estoppel.

[72] It will also be recalled that the appeal to this Court was conducted on the footing that estoppel was not in issue and was not in issue because Mr Gardiner could not show detrimental reliance upon any representation that the indemnity remained effective and enforceable despite failure to make payments punctually. That no argument of detrimental reliance was advanced on behalf of Mr Gardiner may owe much to the fact that when Mr Gardiner was first told that some payments were late he sought to reassure Ms Edwards that he would make future payments on time. ...

[83] In oral argument the Borrower gave particular emphasis to the decision of the English Court of Appeal in *Panoutsos* [1917] 2 KB 473. There, a contract for sale and shipment of goods no later than a specified date, by one or more vessels, provided that each shipment was to be deemed a separate contract and that payment be "by confirmed bankers' credit". The buyer opened a credit but it was not "confirmed". With notice of that fact the sellers made some shipments and drew on the credit for payment. The sellers sought and obtained an extension of time for completing the shipments. Before that extended time had expired the sellers cancelled the contract on the ground that the credit provided was not "confirmed". In an ex tempore judgment, Viscount Reading CJ said (at 477) that "[i]t is open to a party to a contract to waive a condition which is inserted for his benefit" and that, in this case, the sellers had waived the condition for a confirmed bankers' credit. He continued (at 478):

> If at a later stage the sellers wished to avail themselves of the condition precedent, in my opinion there was nothing in the facts to prevent them from demanding the performance of the condition if they had given reasonable notice to the buyer that they would not ship unless there was a confirmed bankers' credit. If they had done that and the buyer had failed to comply with the condition, the buyer would have been in default, and the sellers would have been entitled to cancel the contract without being subject to any claim by the buyer for damages.

On its face, then, what was said in *Panoutsos* may be read as supporting the Borrower's submissions about forbearance. It is to be observed, however, that the facts in *Panoutsos* can readily be fitted within principles of estoppel, for it is evident that the buyer of the goods had relied on the implicit representation that its performance was sufficient. And *Panoutsos* was later treated (*Charles Rickards Ltd v Oppenheim* [1950] 1 KB 616 at 623 per Denning LJ) as an example of the application of those principles rather than as establishing any separate principle of forbearance. Indeed, Cheshire and Fifoot, writing in 1947 about the decision in *Central London Property Trust Ltd v High Trees House Ltd* [1947] KB 130, saw (Cheshire and Fifoot, (1947) 63 *Law Quarterly Review* 283, 299) *Panoutsos* as one of several decisions in which judges, "no doubt … influenced by the dictates of natural justice", based decisions expressed in terms of "waiver" in "estoppel or first cousin to it, though they cannot or dare not say so in unambiguous language". And Cheshire and Fifoot saw (at 300) the re-emergence in *High Trees House* of a doctrine of promissory estoppel as having "elucidated the confused rules relating

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to waiver" and the courts as having "carried the doctrine of estoppel to its logical conclusion". The authors went on to say (at 300):

> If they [the courts] are satisfied that there has been forbearance with regard to performance and that one of the parties has proceeded on the assumption that the forbearance is to be effective, they will not allow the arrangement to be repudiated. They have drawn no fine distinctions between waiver or forbearance and variation, or, in this connection between a statement of fact and a promise de futuro. They lay no stress on whether it was the plaintiff or defendant who requested the forbearance, or whether the forbearance occurred before or after performance was contractually due, or whether consideration has been given. Further, the forbearance can be used, as *Bruner v Moore* [1950] 1 KB 616 at 622-623 shows, as a weapon of offence, at any rate as a means of obtaining the equitable remedy of specific performance. The basis of this sensible and commercially useful attitude is that the arrangement made by the parties and taken by at least one of them at its face value raises an equity against the party resisting.

[84] As earlier indicated, in many cases in which it is said that a party to a contract has "waived" a condition for that party's benefit, the party said to have waived the condition will have made an election between inconsistent rights (to insist on further performance or treat the contract as discharged for failure of the condition). In other cases, of which *Panoutsos* is an example, the case may be better identified as one of estoppel (Handley, *Estoppel by Conduct and Election* (2006), pp 38-39 §[2-018])…

Abandonment or renunciation?

[88] The third basis put forward by the Borrower for the submission that the Lender or Indemnifier (or both) had waived satisfaction of the condition of punctual payment as a condition for the indemnity being effective and enforceable was described as "abandonment" or "renunciation"…

[90] Propositions expressed in terms of abandonment or renunciation of a right, like the proposition that a contractual condition inserted in a contract for the benefit of one party has been waived by that party, are statements of conclusion. They are not statements that reveal the process of reasoning which leads to the assignment of the chosen description …

[93] Even accepting that the condition had the characteristic of being for the benefit of the alleged waiving party, no question about OAL's insistence upon that condition arose until the indemnity was called on. That did not occur until the Borrower had ceased to carry on the relevant business. If, as Mr Gardiner asserted, the Lender or the Indemnifier (or both) had earlier said (even unequivocally) that they would not insist upon compliance with the condition for punctual payment, the time for abandonment or renunciation of the right to insist upon the condition had not arrived when those statements were made and what was said or done at that time constituted, therefore, no abandonment or renunciation … Even if the matters alleged in the particulars given of the plea of waiver were established, there was no waiver (in the sense of abandonment or renunciation) of insistence upon punctual payment as a condition for the indemnity being effective and enforceable.

No "waiver"

[94] For the reasons that have been given, even if the facts were as Mr Gardiner alleged them to be, none of the three senses in which he alleged there was a waiver (election, forbearance, abandonment) was made out …

A residual category or general principle?

[98] ... [T]he submissions in this litigation have not been based upon the existence of some residual category or general principle of "unfairness" at common law which is distinct from the case of "waiver" upon which reliance was placed, and from the principles of "election", "forbearance" and "renunciation". That makes it unnecessary to determine whether such a residual category or general principle exists in the common law of Australia. However, this silence on the subject should not be taken as an encouragement to further speculation.

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[99] It may be thought that some degree of support for such a category or principle of unfairness is to be found in some decisions in other jurisdictions. However, two observations may be made respecting what has been said in certain decisions in the United Kingdom, Canada, New Zealand and the United States.

[100] First, "waiver" is sometimes used, as it is in Australia, in contexts that are far removed from the contractual context presented in this case. Decisions made in those other contexts, such as decisions about the "waiver" of constitutional rights (eg, *Johnson v Zerbst* (1938) 304 US 458 and *Barker v Wingo* (1972) 407 US 514) do not bear upon issues of the kind now under consideration. Secondly, decisions in other jurisdictions lend weight to the observation of Lord Wilberforce, in *Mardorf Peach & Co Ltd v Attica Sea Carriers Corporation of Liberia* [1977] AC 850 at 871, that "the word "waiver", like "estoppel", covers a variety of situations different in their legal nature, and tends to be indiscriminately used by the courts as a means of relieving parties from bargains or the consequences of bargains which are thought to be harsh or deserving of relief". The need for coherence of legal principle and the effects of overly broad interpretations of waiver and estoppel upon other doctrines must be borne in mind (See, eg, *Saskatchewan River Bungalows Ltd v Maritime Life Assurance Co* [1994] 2 SCR 490 at 500 per Major J: "An overly broad interpretation of waiver would undermine the requirement of contractual consideration."). Further, in some cases the reference to "unfairness" may not be to a defining principle. For example, when analysed in the case of an estoppel, it may convey no more than that there has been no detrimental reliance to found the estoppel ...
KIRBY J:

The content of "waiver" in law

[118] *The disputed concept of "waiver"*: ... "Waiver" has had its defenders as a principle to be deployed in the analysis of various legal situations, including in the law of contract. However, its invocation has attracted sustained criticism. Courts and knowledgeable commentators have described the notion of "waiver" as "imprecise" (*Verwayen* (1990) 170 CLR 394 at 451 per Dawson J); "troublesome" (Dugdale and Yates, "Variation, Waiver and Estoppel — A Re-Appraisal", *Modern Law Review*, vol 39 (1976) 680, at p 681); "over-used in the law generally, but particularly in relation to contractual rights" (Carter, "Waiver (of Contractual Rights) Distributed", *Journal of Contract Law*, vol 4 (1991) 59, at p 59); "a cover for vague, uncertain thought" (Ewart, Waiver *Distributed* (1917), p 5); "a term of shifting meaning" (*Verwayen* (1990) 170 CLR 394 at 422 per Brennan J); and "not at all a precise term of art" (*Oliver Ashworth* [2000] Ch 12 at 28 per Robert Walker LJ).

[119] Some of this confusion and the resulting criticism is because "waiver" has been variously understood as including instances of estoppel (Joint reasons at [51]); election (Joint reasons at [56]); deliberate forbearance of insistence upon rights (Joint reasons at [68]); and conscious abandonment or renunciation of rights (Joint reasons at [51]) …

[121] In *Foran v Wight* (1989) 168 CLR 385, Deane J recognised the relevance of this evolution (at 434):

> The line between the somewhat arbitrary doctrine of waiver and the doctrine of estoppel by conduct has always been a vague one (See *Craine* (1920) 28 CLR 305 at 326-327) and the former doctrine is being increasingly enveloped and rationalised by the latter.

[122] Gaudron J likewise acknowledged these doctrinal uncertainties in *The Commonwealth v Verwayen* (1990) 170 CLR 394 at 481:

> Given that the same conduct may constitute what was characterised as waiver in *Craine* and provide the foundation for an estoppel, there has been a tendency, in recent times, to question whether and, if so, in what circumstances waiver exists independently of the general law of estoppel. And this question has led to the further question whether the word "waiver" is not productive of confusion.

…

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[131] *Against unilateral "waiver"*: To determine the ambit of any freestanding or unilateral legal principle of "waiver", it is important to notice the conflicting views expressed, both in this Court and by respected commentators.

[132] In *Verwayen*, Mason CJ took a very narrow view of "waiver". He did not accept that one party to an agreement could unilaterally waive its legal rights so that the contract would become unenforceable (absent estoppel or election) if that party were later to change its mind (*Verwayen* (1990) 170 CLR 394 at 406):

> Generally speaking … an existing legal right is not destroyed by mere waiver in the sense of an express or implied intimation that the person in whom the right is vested does not intend to enforce it. In these cases, unless consideration is present, something in the nature of an election or an estoppel is required.

[133] Mason CJ preferred to consider the "category of waiver" as only "an example of the doctrine of election" (at 407). Nevertheless, he acknowledged that, in certain circumstances, a party to litigation could, with legal effect, agree not to raise a particular defence or engage in conduct that would estop that party from later raising that defence (at 407).

[134] Similarly, McHugh J in *Verwayen* was prepared to acknowledge the existence of a form of "waiver", separate from estoppel and election. However, he considered that such cases were "sui generis" and "anomalous" (at 497). He preferred the simplicity of "the more established doctrines of election, contract and estoppel" (at 497).

[135] This also appears to be the preferred position of Dr Seddon and Associate Professor Ellinghaus in their much respected Australian edition of *Cheshire and Fifoot's Law of Contract* (9th Aust ed (2008), pp 90-91 [2.29] (citations omitted)):

> As with any promise, there are only three ways in which it can be legally enforceable: by contract, deed or estoppel. Therefore it is incorrect to assert that, by itself, non-enforcement of a contractual right, or even a positive promise not to enforce a right, amounts to a waiver in the sense of being precluded from enforcing that right. Only if the limitation period has expired is it correct to say the right has been given up (in the absence of contract, deed or estoppel), and, even then, it is still substantively in existence.

The authors question whether proposed cases of "waiver" could be usefully distinguished from cases of "election to affirm" or "estoppel"…

[136] *Support for unilateral "waiver"*: On the other hand, opinions have been expressed in support of a unilateral and enforceable "waiver" by judges of this Court (*Craine* (1920) 28 CLR 305 at 326; *Verwayen* (1990) 170 CLR 394 at 423 per Brennan J; at 457 per Dawson J; at 472-473 per Toohey J.) and by judges in the United Kingdom (*Panoutsos v Raymond Hadley Corporation of New York* [1917] 2 KB 473 at 477; *Glencore Grain Ltd v Flacker Shipping Ltd (The Happy Day)* [2002] 2 Lloyd's Rep 487 at 506 [64] per Potter LJ, delivering the reasons of the Court), New Zealand (*Neylon v Dickens* [1978] 2 NZLR 35 at 37-38; *Connor v Pukerau Store Ltd* [1981] 1 NZLR 384 at 386), Canada (*British American Oil Co v Ferguson* [1951] 2 DLR 37 at 44; *Marchischuk v Dominion Industrial Supplies Ltd* [1991] 2 SCR 61 at 65; *Saskatchewan River Bungalows Ltd v Maritime Life Assurance Co* [1994] 2 SCR 490 at 499-500), the United States of America (*Johnson v Zerbst* (1938) 304 US 458 at 464; *Barker v Wingo* (1972) 407 US 514 at 529; *Milas v Labor Association of Wisconsin, Inc* (1997) 571 NW (2d) 656 at 659 [13] (Wis); *Cassey v Stewart* (1999) 727 So 2d 655 at 658 (La App 2 Cir)) and South Africa (*Laws v Rutherfurd* (1924) AD 261 at 263; *Road Accident Fund v Mothupi* (2000) (4) SA 38 at 49 [15]). Such a "waiver" would operate against parties to a contract who know of a breach and who, without any relevant disability or disqualification, consciously waive the breach so as to preclude a later change of mind and a later decision to enforce legal rights. Supporters of waiver then regard the defence as applying notwithstanding the absence of a variation of the contract or of the necessary preconditions to establish an estoppel or an election between inconsistent rights (cf *Sargent v ASL Developments Ltd* (1974) 131 CLR 634 at 641) …

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[138] In *Verwayen*, Brennan J explained his view of "waiver" by reference to what Lord Hailsham of St Marylebone LC had said in *Banning v Wright (Inspector of Taxes)*. Brennan J stated:

> What his Lordship is saying is that a right which is susceptible of waiver can be "confessed" by a party against whom it might prima facie be exercisable but that party's liability can be "avoided" by showing that the right has been abandoned. In other words, upon waiver, the party waiving the right ceases to be able thereafter to assert it effectively. When a right has been waived [in this sense] … it is unnecessary to consider whether any other party has acted in reliance on the release or abandonment: the right is abandoned once and for all.

[139] To justify a unilateral "waiver", separate from the rules of contract, estoppel and election, Brennan J explained (at 423):

> These distinct doctrines serve different purposes: election … ensures that there is no inconsistency in the enforcement of a person's rights; estoppel or equitable estoppel ensures that a party who acts in reliance on what another has represented or promised suffers no unjust detriment thereby; waiver recognises the unilateral divestiture of certain rights. True it is that the divisions in nature and purpose between one of these doctrines and another have not always been expressed in the way in which I have stated them and there have been occasions when the sterilisation of a right has been dubiously attributed to one doctrine rather than to another.

[140] Dawson J took a similar approach in *Verwayen* (at 456):

> In order to waive a statutory right … it must be a personal or private right and must not rest upon public policy or expediency … Provided that it bars a remedy rather than extinguishes a cause of action, a statute of limitations gives rise to a right of that kind and it must be pleaded if it is to be invoked … If it is not pleaded, it is said to be waived.

His Honour went on, however, to acknowledge the imperfection of the propounded category.

[141] In the United Kingdom, Robert Walker LJ in *Oliver Ashworth* [2000] Ch 12 at 31 left open whether there existed a "third route", besides estoppel and election. He did so after reference to a principle of Scottish law that recognises an equitable doctrine of enforceable election, known as "approbate and reprobate" (See *Ker v Wauchope* (1819) 1 Bligh (NS) 1, 21; 4 ER 1, 8; referred to by Hoffmann J in *Banner Industrial and Commercial Properties Ltd v Clark Paterson Ltd* [1990] 2 EGLR 139 at 140). Ultimately, his Lordship put the question aside as he did not consider it necessary to decide the matter in that case.

[142] Nevertheless, in *Glencore Grain Ltd v Flacker Shipping Ltd (The Happy Day)* [2002] 2 Lloyd's Rep 487 at 506 [64], Potter LJ, delivering the reasons of the Court, pressed the modern conceptualisation of "waiver" a little further):

> Broadly speaking, there are two types of waiver strictly so-called: unilateral waiver and waiver by election. Unilateral waiver arises where X alone has the benefit of a particular clause in a contract and decides unilaterally not to exercise the right or to forego the benefit conferred by that particular clause … In such a case, X may expressly or by his conduct suggest that Y need not perform an obligation under the contract, no question of an election by X between two remedies or courses of action being involved. Waiver by election on the other hand is concerned with the reaction of X when faced with conduct by Y, or a particular factual situation which has arisen, which entitles X to exercise or refrain from exercising a particular right to the prejudice of Y. Both types of waiver may be distinguished from estoppel. The former looks principally to the position and conduct of the person who is said to have waived his rights. The latter looks chiefly at the position of the person relying on the estoppel. In waiver by election, unlike estoppel, it is not necessary to demonstrate that Y has acted in reliance upon X's representation.

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[143] *Conclusion: an emerging concept of "waiver"*: A number of conclusions may be drawn from a consideration of the foregoing authorities:

(1) The content of the doctrine of "waiver" in the taxonomy of remedies available where there is an alleged contractual breach is not settled. This is partly because of the differing ways in which the concept of "waiver" has been used: as an umbrella term to encompass various forms of unilateral loss of legal rights, and as a technical category that falls short of estoppel or election but to which the waiving party will nevertheless be held;

(2) Where the doctrines of estoppel, election or contractual variation (for consideration or by deed) apply, they must be given effect according to the established law on those subjects. Nevertheless, because there is an obvious overlap between the categories, it is possible for an additional or alternative category of "waiver" to be recognised as part of Australian law. In practice, parties commonly plead and not infrequently seek to prove overlapping legal categories. The overlap is an inherent feature of judge-made law. A lack of conceptual purity and uncertain application is occasionally balanced by the provision of practical remedies apt to the facts of the particular case;

(3) Reliance on technical instances of unilateral "waiver" is certainly not new in the common law. It finds resonance in both old (*Craine* (1920) 28 CLR 305 at 326. See Seddon and Ellinghaus, *Cheshire and Fifoot's Law of Contract*, 9th Aust ed (2008), p 1046 [21.31]) and recent authority in this Court (*Verwayen* (1990) 170 CLR 394 at 423 per Brennan J; at 457 per Dawson J; at 472-473 per Toohey J), and in the judicial decisions of other common law countries (see above these reasons at [136]). Judicial and scholarly analysis of unilateral "waiver", however, is divided (see above these reasons at [131]-[142]). At least at the level of past decisions of this Court, it is inconclusive (See, eg, *Verwayen* (1990) 170 CLR 394). If necessary, it therefore falls to this Court to resolve the ambiguity;

(4) Particular instances of "waiver" have been upheld in the context of litigation. This is the case in proceedings where a party indicates its intention not to invoke a statutory limitation defence (cf Seddon and Ellinghaus, *Cheshire and Fifoot's Law of Contract*, 9th Aust ed (2008), p 1046 [21.31]). However, as McHugh J observed in *Verwayen* (1990) 170 CLR 394 at 497, such instances are sui generis and anomalous. They do not decide the issue of legal principle and policy presented by a case such as the present. At most, they illustrate particular examples of circumstances that enliven a broader and as yet imprecise principle of the common law. For example, it cannot be the case that there is a special legal category in relation to the suggested "waiver" of a bar provided by a statute of limitations. Such a category could be no more than an example, or occasion, of the application of a broader principle of law still awaiting expression;

(5) The precise role of "waiver" cannot therefore be resolved by absolute statements, at least at this stage. Nonetheless, drawing from recent authority, and by analogy with the Scottish doctrine of "approbation and reprobation", it is relatively easy to conceive of circumstances where it "may be unfair for one party, A, to adopt inconsistent positions in his dealings with the other, B" (*Oliver Ashworth* [2000] Ch 12 at 27 per Robert Walker LJ). Circumstances in the dealings between parties sometimes alter. Persons involved in a dispute change their minds. Supporting the availability of an enforceable doctrine of "waiver" in particular circumstances lies at the core of the common law freedom enjoyed by parties of full capacity to contract. That freedom includes the freedom of the party both to insist on its legal rights and to renounce, abandon or waive such rights. Rather than upholding the permanent effectiveness of all instances of "waiver", to forestall a change of mind, there is a competing notion that ordinarily, until judgment is entered, a party may invoke and demand their legal rights (*Verwayen* (1990) 170 CLR 394 at 427 per Brennan J). That is the case unless there is some countervailing substantive or procedural impediment that prevents that party from doing so; and

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(6) It is obviously necessary to avoid undermining competing principles that are established in the law (cf *Verwayen* (1990) 170 CLR 394 at 497 per McHugh J) when developing the limited instances where unilateral "waiver" would prevent a party from changing its mind and seeking to revive an insistence on its legal rights. These potentially competing principles include the necessity to establish consideration (or a deed) for a bilateral variation of a contract; to demonstrate reliance and detriment to establish a legally effective estoppel; and to show a conscious choice between inconsistent rights for a legally effective election (Feltham, Hochberg and Leech (eds), *Spencer Bower's Law Relating to Estoppel by Representation*, 4th ed (2004), pp 375-376 [XIII.1.26]).

[144] In light of the foregoing analysis, I am inclined to accept that a party may unilaterally release or abandon a right and be held to such a "waiver" beyond instances of contractual variation, estoppel and election. In my view, "waiver" certainly extends beyond the very particular circumstance of an indication of non-reliance on a statute of limitations.

[145] However, for the doctrine of "waiver" to find a sure footing amongst the categories of legal relief, the circumstances of the "waiver" must be clear in the first place. To be binding, the parties must be subject to no relevant disability or disadvantage. Further, as to the parties to, and the circumstances of, the "waiver", the facts must be such that it would be manifestly unfair for the party which had earlier waived its legal rights later to adopt an inconsistent position and to seek to enforce them. Cases of estoppel and binding election are the clearest examples of such a manifest unfairness. However, I would accept a residual category of manifest unfairness at common law that is distinct from estoppel and election. The law will provide relief by upholding a "waiver" in circumstances where not to do so would be manifestly unfair to the beneficiary of the "waiver".

[Applying this test to the facts at hand, Kirby J held that the indemnifier had not waived its rights. Like Gummow, Hayne and Kiefel JJ, Kirby J did not accept that the first three events listed in the facts at the beginning of this extract had occurred. Further, as Ms Edwards did not have the authority to act on behalf of the indemnifier, it could not be said that it was "manifestly unfair" to allow the indemnifier to rely on cl 2 of the indemnification agreements.

HEYDON J agreed with the reasons of GUMMOW, HAYNE and KIEFEL except for two qualifications that did not relate to the analysis of the waiver argument.]

Appeal allowed.

RELIEF AGAINST FORFEITURE

[25.80] The termination of a contract may result in one party suffering the deprivation, or forfeiture, of an interest in property, instalment payments or valuable contractual rights. Courts of equity have long exercised a jurisdiction to provide relief against certain forfeitures. Relief against the forfeiture of an interest in property may be granted by ordering specific performance of the contract in favour of the party in breach. The extracts from *Legione v Hateley* (1983) 152 CLR 406 at [25.85] and *Tanwar Enterprises Pty Ltd v Cauchi* [2003] HCA 57; (2003) 217 CLR 315 at [25.105] deal with the circumstances in which a court will exercise this discretion. The jurisdiction to relieve against the forfeiture of instalment payments is referred to in the extract from *Tanwar Enterprises Pty Ltd v Cauchi* [2003] HCA 57; (2003) 217 CLR 315 at [25.135] and in the extract from *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457 at [29.85]. As to whether a court could grant relief against the forfeiture of contractual or other non-proprietary rights, see the note at [25.150].

Legione v Hateley

[25.85] *Legione v Hateley* (1983) 152 CLR 406 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: Under a contract of sale dated 14 July 1978, *Mr and Mrs Hateley*, the *purchasers*, agreed to purchase certain land from *Mr and Mrs Legione*, the *vendors*. The purchase price was $35,000, payable by a deposit of $6,000 and the balance, bearing interest at 8 per cent, on 1 July 1979. On payment of the deposit, the purchasers were entitled to, and did, enter into possession of the land. Without the knowledge of the vendors, the purchasers built a house on the land. Special Condition 5 stated that time was of the essence. It further provided that a party could not enforce his rights and remedies under the contract unless he gave the other written notice specifying the default and stating his intention to enforce his rights and remedies unless the default were made good within a period of not less than 14 days of the notice, and the other party failed to remedy the default. The condition also provided that if the notice stated that the contract would be rescinded if the default were not remedied, it would become rescinded at the expiration of the period if the default were not remedied. In event of rescission, the vendors were entitled to forfeit the deposit and recover possession.

The purchasers had expected to raise the balance of the purchase money on the sale of another property, but this sale fell through. On 29 June, the purchasers so informed the vendors and requested a three-month extension for the time for completion. On 12 July, the vendors' solicitors informed the purchasers that time would not be extended and suggested that the purchasers might obtain bridging finance. On 26 July, they sent a notice to the purchasers stating that unless the balance of the purchase price and certain accrued interest were duly paid, the vendors would rescind the contract. The time for payment expired at midnight on 10 August. On 9 August, the purchaser's solicitor, *Mr Gardiner*, telephoned the vendor's solicitor and told a secretary, *Miss Williams*, whom he was told was dealing with the matter, that the purchaser had arranged bank finance and would be ready to settle on 17 August. Miss Williams said, "I think that'll be all right but I'll have to get instructions." On 14 August, the vendor claimed that the contract had been rescinded in consequence of the notice and on the following day refused a tender of the residue of the price.

The purchasers unsuccessfully sought an order for specific performance in the Supreme Court of Victoria and the vendors' counterclaim for a declaration that the contract had been rescinded was successful. An appeal to the Full Court by Mrs Hateley, the surviving purchaser, was allowed. The vendors appealed to the High Court.]

GIBBS CJ and MURPHY J: [421] [T]here will be an estoppel in the present case if the following facts are established — (1) that Miss Williams, by saying that she would get instructions, induced the solicitors for the purchasers to believe that the vendors' right to rescind the contract would be kept in abeyance until the instructions were obtained and communicated, and intended that those solicitors should act on that belief; (2) that the vendors are bound by the conduct of Miss Williams; (3) that the solicitors for the purchasers, acting on the faith of that inducement, desisted from paying the balance of the purchase price within the time specified in the notice of rescission, although they would otherwise have made payment within that time; (4) that it would be inequitable to allow the vendors to rescind the contract without first informing the purchasers that no extension of time would be granted and then giving the purchasers a reasonable opportunity to make the payment. It is of course clear that neither the solicitors, nor Miss Williams, had any actual authority from the vendors to make any representation to the purchasers that the vendors' rights would be kept in abeyance. But the vendors had authorized the solicitors to act for them in completing the sale. Within reasonable limits, the solicitors, having been entrusted by the vendors with the conduct of the negotiations, must be treated as having the authority which, within the course of the negotiations, they purported to exercise: cf *Crabb v Arun District Council* [1976] Ch 179, 193. "The solicitor is to be regarded as the alter ego of the client and the rights of the other party to the contract cannot be made to depend upon the diligence or lack of diligence exhibited by the solicitor in his dealings with his client": *Sargent v ASL Developments Ltd* (1974) 131 CLR 634, 659; see also at 649. It was of course the conduct of the vendors that gave the solicitors ostensible authority to act on their behalf. The authority extended to

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actions carried out in the ordinary course of business by such members or employees of the firm as ordinarily acted for it. When the solicitors selected or permitted Miss Williams to speak on their behalf, in their capacity as solicitors for the vendors, her words bound the vendors ….

[422] The statement by Miss Williams was in our opinion both intended and likely to induce a belief in the mind of the purchasers' solicitors that the vendors would not enforce their strict legal rights until they indicated their intention to do so. In one sense, the statement made by Miss Williams may have seemed only tentative and provisional. However, it was made in the context of a conversation between parties who knew that the time fixed by the notice of rescission was about to expire, and that if the purchasers did not settle within that time the contract would be at an end. There would have been no point in Miss Williams obtaining instructions, if, by the time they had been obtained, the rescission of the contract had taken effect. The position would have been quite different if Miss Williams had said: "I have no instructions — the only safe thing for you to do is to settle within the time specified in the notice." But when Miss Williams said that she thought it would be all right, and that she would have to get instructions, she must have meant, and the purchasers' solicitors were entitled to believe, that the position was being left in abeyance until the instructions were received. If that were not so, the conversation would have been a futility. We should add that we consider that Miss Williams acted quite reasonably in doing what she did.

It was submitted that there was no evidence that the purchasers' solicitors believed that the matter was left in abeyance and that the vendors' rights would not be enforced until some further communication was made and the purchasers were given an opportunity to make payment. However, it seems to us that the facts lead to the inference that the solicitors had such a belief and acted on it. Funds were available on 9 August, and it is impossible to suppose that the purchasers' solicitors would not have made payment on that or on the following day, if they had thought that the vendors intended to insist on their legal right to treat the contract as rescinded if payment had not been made within the time specified in the notice. The terms of the letter sent by the purchasers' solicitors on 9 August support this view. The inaction of the purchasers, which altered their position, was because they believed, on the faith of the conversation, that the matter was in abeyance. It would be [423] inequitable to allow the vendors to treat the contract as rescinded without first informing the purchasers that they must complete forthwith and giving them a reasonable opportunity to do so.

The vendors had the legal right to treat the contract as rescinded if payment was not made by midnight on 10 August. But for the reasons which we have given, the conduct of their agents made it inequitable to allow them to enforce that right without first giving reasonable notice to the purchasers of their intention to do so if payment was not made. They gave no notice but claimed to treat the contract as rescinded. The purchasers forthwith made a tender of payment. The vendors were estopped from treating the contract as rescinded when the tender was made.

For these reasons we consider that the purchasers were entitled to specific performance and that the appeal should be dismissed.

However, it appears that the other members of the Court would hold that the vendors were not estopped from treating the contract as rescinded. It therefore becomes necessary for us to consider the further question whether the purchasers should be relieved against the forfeiture of their interest in the land that will occur if the vendors are successful in the present proceedings. …

There is no doubt that when the purchasers executed the contract and paid the deposit the beneficial ownership of the land passed to them subject to the payment of the purchase money. The effect of cl 15 of the copyright conditions of sale was to deprive the [424] purchasers of their interest in the land once a notice had been given under that clause and the default in payment to which the notice referred had not been remedied within the time limited in the notice. In saying that we of course assume, contrary to our own opinion, that no estoppel had occurred. In these circumstances it is manifest that the condition brought about a forfeiture of the purchasers' interest in the land.

In *Shiloh Spinners Ltd v Harding* [1973] AC 691, 722 Lord Wilberforce said:

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> There cannot be any doubt that from the earliest times courts of equity have asserted the right to relieve against the forfeiture of property. The jurisdiction has not been confined to any particular type of case. The commonest instances concerned mortgages, giving rise to the equity of redemption, and leases, which commonly contained re-entry clauses; but other instances are found in relation to copyholds, or where the forfeiture was in the nature of a penalty. Although the principle is well established, there has undoubtedly been some fluctuation of authority as to the self-limitation to be imposed or accepted on this power. There has not been much difficulty as regards two heads of jurisdiction. First, where it is possible to state that the object of the transaction and of the insertion of the right to forfeit is essentially to secure the payment of money, equity has been willing to relieve on terms that the payment is made with interest, if appropriate, and also costs (*Peachy v Duke of Somerset* (1721) 1 Stra 447; 93 ER 626 and cases there cited) …. Secondly, there were the heads of fraud, accident, mistake or surprise, always a ground for equity's intervention, the inclusion of which entailed the exclusion of mere inadvertence and a fortiori of wilful defaults.

Later, after discussing some of the authorities, his Lordship went on [1973] AC 691, 723:

> But it is consistent with these principles that we should reaffirm the right of courts of equity in appropriate and limited cases to relieve against forfeiture for breach of covenant or condition where the primary object of the bargain is to secure a stated result which can effectively be attained when the matter comes before the court, and where the forfeiture provision is added by way of security for the production of that result.

The judgment of Lord Wilberforce was concurred in by all members of the House in that case except Lord Simon of Glaisdale who took a wider view, holding that "equity has an unlimited and unfettered jurisdiction to relieve against contractual forfeitures and penalties" [1973] AC 691, 726. It was held in that case that there was power to relieve against the exercise by the covenantee (the assignor of a leasehold [425] interest) of a right of entry on failure by the covenantor to perform certain stipulations as to fencing and support of buildings.

In the light of those statements of principle it is difficult to see any reason why the power of courts of equity to relieve against forfeiture should not be available in a case such as the present ….

[429] A court of equity will grant specific performance notwithstanding a failure to make a payment within the time specified by the contract if there is nothing to render such an order inequitable. The fact that time for the performance of the stipulated obligation is of the essence of the contract generally makes the grant of specific performance inequitable in such a case. However, if it is just to relieve against the forfeiture which is incurred when the vendor retains payments already made under the contract, it is difficult to see why it should be unjust to relieve the purchaser against the forfeiture of the interest in the property that results in exactly the same circumstances. No doubt where the parties have chosen to make time of the essence of the contract the grant of relief against forfeiture as a preliminary to an order for specific performance will be exceptional. Nevertheless on principle we can see no reason why such an order should not be made if it will not cause injustice but will on the contrary prevent injustice. If relief against the forfeiture is granted, the objection to the grant of specific performance is removed.

In the present case the circumstances revealed by the existing evidence indicate that it would be unjust for the vendors to insist on the forfeiture of the purchasers' interest in the land. Important among those circumstances is the fact that the purchasers have erected on the land a house of considerable value and if the contract is rescinded the vendors will receive an ill-merited windfall. Further there are the facts that the purchase moneys were tendered only four days after the notice expired, and that the late payment was explained by the terms of the letter from the vendors' solicitors. The breach by the purchasers was neither wilful nor apparently serious. To enforce the legal rights of the vendors in these circumstances would be to exact a harsh and excessive penalty for a comparatively trivial breach. However, an opportunity should be given to the vendors to establish whether they have

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suffered damage as a result of the purchasers' failure. Moreover it will be necessary for the court to consider what terms should be imposed on the purchasers as a condition of the grant of relief. Clearly they should be required to pay the balance of the purchase price and interest, although at what rate will be a matter that requires consideration. Whether the purchasers should in addition be required to pay anything in respect of damages or costs depends on the evidence and argument that may be adduced.

As we have already indicated, in our opinion the appeal should be dismissed. However, in the circumstances we concur in the order that the case be remitted to the Supreme Court for determination of [430] the respondent's claim to be relieved from the forfeiture of her interest under the contract of sale.

[25.90] MASON and DEANE JJ: [435] Since the parties in the present case were in a pre-existing contractual relationship, it is unnecessary to consider whether, as apparently envisaged by Denning J in *Central London Property Trust Ltd v High Trees House Ltd* [1947] 1 KB 130, 134-5, the doctrine of promissory estoppel should be accepted as a general doctrine applicable regardless of the existence of that relationship. Nor is it necessary, for the purposes of the present case, to consider whether the doctrine of promissory estoppel should be treated as an extension of estoppel in pais into a field where the doctrine of consideration otherwise predominates or whether it should be seen as an independent equitable doctrine. In either case, it is clear that there is general correspondence between the "grounds of preclusion" of an ordinary estoppel by representation and the "grounds of preclusion" of a promissory estoppel and that a number of rules which have been established as applicable to estoppel in pais are also applicable to promissory estoppel. Two of those rules are presently relevant.

First, it has long been recognized that a representation must be clear before it can found an estoppel in pais: *Low v Bouverie* [1891] 3 Ch 82, 106, 113; *Newbon v City Mutual Life Assurance Society Ltd* (1935) 52 CLR 723, 738; *Woodhouse AC Israel Cocoa Ltd SA v Nigerian Produce Marketing Co Ltd* [1972] AC 741, 755-6, 768, 771 ….

[436] The requirement that a representation must be clear before it can found an estoppel is, in our view, applicable to any doctrine of promissory estoppel: see *Woodhouse AC Israel Cocoa Ltd SA v Nigerian Produce Marketing Co Ltd*; *China-Pacific SA v Food Corporation of India* [1981] QB 403, 429-30. …

[437] The second of those rules is that a person will not be estopped from departing from an assumption or a representation "unless, as a result of adopting it as the basis of action or inaction, the other party will have placed himself in a position of material disadvantage if departure from the assumption be permitted": per Dixon J in *Thompson v Palmer* (1933) 49 CLR 507, 547; and see *Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd* [1955] 1 WLR 761, 763-4; *Grundt's* Case (1937) 59 CLR 641, 674-5; *Fontana NV v Mautner* (1979) 254 Est Gaz LR 199. Again, we are of the view that this general rule is applicable to any doctrine of promissory estoppel: see *Ajayi v RT Briscoe (Nigeria) Ltd* [1964] 1 WLR 1326, 1330; Spencer Bower and Turner, *Estoppel by Representation*, 3rd ed (1977), pp 391-4.

Ultimately, in the view we take, the question whether there is a promissory estoppel in the present case depends upon whether the suggested representation was made to the solicitor acting for Mr and Mrs Hateley and, if it was, whether Mr and Mrs Hateley, through that solicitor, acted on it with the result that they were placed in a position of material disadvantage if departure from the representation were permitted. As we followed the argument, the suggested representation was to the effect that the vendors would not rely on any right to treat the contract as at an end provided that settlement took place either on 17 August 1979 or within a reasonable time after the solicitor for Mr and Mrs Hateley was advised that the vendors were not prepared to extend the time for settlement until that day (whichever was the earlier). If what was said on 9 August 1979 by Miss Williams of the firm of solicitors acting for the vendors to Mr Gardiner, who was the solicitor acting for Mr and Mrs Hateley, amounted to such a representation, it was within the ostensible authority of the solicitor for the vendors to

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make it on behalf of the vendors. It is true that the evidence indicates that Miss Williams was but the secretary of that solicitor. She was, however, the person to whom Mr Gardiner was connected when he asked to speak to the person dealing with the matter. More importantly, examination of the correspondence between solicitors indicates that it was Miss Williams who had signed in her own name, on behalf of the vendors' solicitors, a letter advising that the [438] vendors were not prepared to extend the due date for completion of the contract of sale and a subsequent letter enclosing a copy of the notice of rescission.

The evidence is unsatisfactory on the question whether, if there were a representation to the suggested effect, Mr and Mrs Hateley, through their solicitor, adopted it as a basis of action or inaction and thereby placed themselves in a position of material disadvantage if departure from the representation were permitted. Part of the reason for this may be a failure by the pleadings to allege this necessary component of any promissory estoppel. Mr Gardiner did not give express evidence as to whether he had interpreted what Miss Williams said as constituting a representation to the relevant effect or whether he had acted upon any such representation. On the day before he had the telephone conversation with Miss Williams, he had written to Mr and Mrs Hateley in terms which indicate that he already assumed that settlement would take place on 17 August 1979. Overall, however, the evidence seems to us to warrant a finding that Mr Gardiner acted on the representation and, as a result of so acting, failed to arrange settlement prior to the expiry of the time for settlement allowed by the notice of rescission. That being so, the issue as to the existence of a promissory estoppel finally resolves itself into the question whether a representation to the relevant effect was ever made by Miss Williams on behalf of the vendors to Mr Gardiner on behalf of Mr and Mrs Hateley.

… The requirement that a representation as to existing fact or future conduct must be clear if it is to found an estoppel in pais or a promissory estoppel does not mean that the representation must be express. Such a clear representation may properly be seen as implied by the words used or to be adduced from either failure to speak [439] where there was a duty to speak or from conduct. Nor is it necessary that a representation be clear in its entirety. It will suffice if so much of the representation as is necessary to found the propounded estoppel satisfies the requirement. Thus, a representation that a particular right will not be asserted for at least x days is not rendered, for the purposes of promissory estoppel, unclear or equivocal merely because the words used are equivocal as to whether the relevant period is x days, x plus one day or x plus two days. If what is said or done amounts to a clear and unequivocal representation that the particular right will not be asserted for a period of at least x days, a representation to that effect can be relied on to found an estoppel. …

The first thing to be noted about what was said in the conversation between Mr Gardiner and Miss Williams is that Miss Williams' comments were in reply to statements made to her by Mr Gardiner. Those statements were to the effect that "the ANZ Bank at Pakenham", from whom the purchasers were said to have arranged bridging finance, "required approximately a week in which to carry out their usual title searches, but they would be ready to settle on the following Friday — which was 17 August". In other words, on his own account of the conversation, Mr Gardiner did not inquire of Miss Williams whether the vendors would allow a further period of time for settlement. He "told" her that the bank "required" the further time for searches after which they would be "ready to settle". It was in reply to those statements of Mr Gardiner [440] that Miss Williams commented that she thought that that would be all right but that she would have to get instructions. Plainly that statement could not be treated as an agreement or representation that the vendors would extend the time for settlement until 17 August 1979. Nor can that statement properly be seen as containing any representation that, pending communication of instructions, the purchasers could, with impunity, disregard the time allowed for settlement by the notice of rescission. To the contrary, Miss Williams' statement that she thought it would be all right but would have to get instructions intimated that she was not in a position to agree to what was, on a fair interpretation of Mr Gardiner's account of the conversation, being put to her as a fait accompli.

It follows that Miss Williams did not, either by her words or her conduct, make to Mr Gardiner, on behalf of Mr and Mrs Hateley, any clear and unequivocal representation to the effect of that suggested

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as the basis for a promissory estoppel. The only representation in Miss Williams' answer to the statement that the bank "required" a further week to carry out title searches and that they would be "ready to settle" on 17 August was the express representation that she personally thought that that would be all right but that she would have to get instructions. It is, in our view, impossible properly to read into that statement any representation to the effect that, unless they were advised to the contrary, the purchasers could, with impunity, disregard the expiry of the time fixed by the written notice of rescission which had been served upon them. Indeed one can do no more than speculate as to what Miss Williams would have said if Mr Gardiner had expressly raised the question of waiving compliance with the notice pending receipt and communication of instructions. In the result, we are of the view that there was no basis, in the evidence, for a finding that the vendors were estopped, as against Mr and Mrs Hateley, from asserting that the contract was at an end on the expiry of the time allowed by the notice of rescission. We turn to the respondent's submission that she is entitled to relief against the forfeiture of her interest in the land upon terms that she pay to the appellants the amount of $30 188.24 that was tendered to them on 15 August 1979 and not accepted, being the balance of the purchase moneys under the contract. As the respondent did not advance a case for relief against forfeiture in the courts below, there is a question whether she should now be allowed to make this submission. Before examining this question it will be convenient to consider the respondent's case for relief against forfeiture.

[441] Two Privy Council decisions are daunting obstacles confronting the respondent's case — *Steedman v Drinkle* [1916] 1 AC 275 and *Brickles v Snell* [1916] 2 AC 599. They stand seemingly as authority for the proposition that specific performance, even by way of relief against forfeiture, is never ordered when a stipulation as to time, which is of the essence of the contract, has not been observed. However, three years before those decisions, the Privy Council in *Kilmer v British Columbia Orchard Lands Ltd* [1913] AC 319 had ordered specific performance of a contract by way of relief against forfeiture at the suit of the purchaser, notwithstanding that the vendor had elected to treat the contract as at an end following the purchaser's default in making due payment of an instalment of the purchase price, the contract containing a provision that time was to be of the essence.

The principle which the Judicial Committee applied in *Kilmer's* Case had been enunciated in *In re Dagenham (Thames) Dock Co; Ex parte Hulse* (1873) LR 8 Ch App 1022, where the Court of Appeal in Chancery (James and Mellish LJJ) held that a provision in a contract entitling the vendor to rescind for late payment, forfeit instalments of purchase price already paid and retake possession, time being of the essence of the contract, was a penalty against which relief should be granted by requiring completion on terms that the purchaser pay the balance of the purchase price with interest for late payment. Mellish LJ expressed the principle in this way (1873) LR 8 Ch App, at p 1025:

> … where there is a stipulation that if, on a certain day, an agreement remains either wholly or in any part unperformed — in which case the real damage may be either very large or very trifling — there is to be a certain forfeiture incurred, that stipulation is to be treated as in the nature of a penalty.

James LJ spoke of it as "an extremely clear case of a mere penalty for non-payment of the purchase-money", agreeing that it was a penalty from which the company was entitled to be relieved on payment of the residue of the purchase money with interest (34). In *Kilmer's* Case in the judgment prepared by Lord Macnaghten and delivered by Lord Moulton the views of James and Mellish LJJ were repeated and applied. Their Lordships said [1913] AC, at p 325: "It seems to be even a stronger case, for the penalty, if enforced according to the letter of the agreement, becomes more and more severe as the agreement approaches completion, and the money liable to confiscation becomes larger."

Kilmer's Case was explained in *Steedman v Drinkle* and *Brickles v Snell* as a case in which the vendor had waived the due payment of the overdue instalment so that the purchaser's breach of contract was not a breach of an essential condition. Unfortunately *Kilmer's* Case does not easily lend itself to this explanation. Waiver was one of the arguments advanced in support of the appeal. It was not, however, reflected in the judgment, where their Lordships set out the provision making time of the essence in respect of payment of instalments and forfeiting all instalments paid in the event of any

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delay in payment and noted that the relevant payment was by the terms of the agreement to be made on or before 14 June 1910, that it was extended to 7 July 1910, and that on 9 July the vendor declared that the deal was off. In the absence of any reference in the judgment to a waiver of time being of the essence — and there is no reference — it is difficult to conclude that the judgment turned upon any finding to that effect. Indeed, the report contains no reference to material which could sustain the conclusion that there had been a waiver of the essentiality of prompt payment. The extension of the time for payment from 14 June to 7 July would not involve such a waiver. So much had been decided in *Barclay v Messenger* (1874) 43 LJ Ch 449, 456, more recently followed by this Court in *Tropical Traders Ltd v Goonan* (1964) 111 CLR 41, 53-5 where Kitto J, with whom Taylor and Menzies JJ agreed, accepted the explanation of *Kilmer's* Case offered in *Steedman v Drinkle* and *Brickles v Snell*, supplementing that explanation by reference to facts stated in the *Law Journal* report of *Kilmer's* Case (1913) 82 LJPC 77.

Much earlier Dixon J in *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457, 478 had questioned the correctness of the traditional explanation of *Kilmer's* Case. He said that the view adopted in the *Dagenham (Thames) Dock* Case (1873) LR 8 Ch App 1022:

> … seems to have been that relief should be granted, not against the forfeiture of the instalments, but against the forfeiture of the estate under a contract which involved the retention of the purchase money: and this may have been the ground upon which Lord Moulton proceeded in [*Kilmer's* Case], notwithstanding the explanation of that case given in *Steedman v Drinkle* and *Brickles v Snell*.

Apart from *Steedman v Drinkle* and *Brickles v Snell*, statements in the judgments in *Mehmet v Benson* (1965) 113 CLR 295, 307-8, 309, 314-15, and in *Petrie v* [443] *Dwyer* (1954) 91 CLR 99, 104-5, appear to support the proposition that specific performance of a contract cannot be obtained by a purchaser once the contract has been rescinded in consequence of his breach of an essential term. The proposition does not, however, appear to have been in issue in either case.

The question has not been raised as an issue in recent times, no doubt because the doctrine enunciated in *Steedman v Drinkle* and *Brickles v Snell* has been thought to hold the field. However, Farwell J in *Mussen v Van Diemen's Land Co* [1938] Ch 253 expressed the opinion that specific performance, with or without compensation, would be ordered at the suit of a purchaser wherever possible, so long as he was able and willing to complete. He said [1938] Ch 253, 263-4:

> There are no doubt cases where there has been a failure to pay the instalments and to complete the contract, and the purchaser has then come forward and said: "I am here and now ready and willing to complete the contract and to pay the price originally stipulated by the contract and to carry out its terms," and then the Court has said that it is inequitable and against conscience that the vendor should refuse specific performance and claim to retain the money already paid. That is because the Court has said that if the plaintiff is willing to carry out his contract, notwithstanding the fact that temporarily at any rate he was unable to do so, if he is willing and able to carry out his contract, it being the primary intention of the parties that the sale should take place, it would be against conscience for the defendant to say: "I will not give effect to the primary intention of the parties, but I will refuse to complete, and I will retain the money which has been paid to me."

Although it is not entirely clear that his Lordship was directing his remarks to a contract in which due payment was of the essence, it seems that his comments were intended to embrace this situation, because the contract with which he was dealing was of that kind. In particular, it appears plainly enough from his judgment that Farwell J was of the view that the plaintiff in that case would have been entitled to relief if it had appeared that what the defendant company sought to do was unconscionable.

Farwell J thought that relief against forfeiture of instalments of purchase money already paid would only be granted to a purchaser who was willing and able to complete the contract. In this

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respect a majority of the Court of Appeal (Somervell and Denning LJJ, Romer LJ dissenting) held otherwise: *Stockloser v Johnson* [1954] 1 QB 476. But this aspect of Farwell J's judgment is not material to the [444] question now under consideration; nor is the answer to this question dependent on the correctness of his Lordship's opinion in respect of relief against the forfeiture of instalments of purchase money.

Underlying the approach taken in the *Dagenham (Thames) Dock* Case (1873) LR 8 Ch App 1022 and *Kilmer's* Case [1913] AC 319 is an expansive view of the equitable jurisdiction to relieve against forfeiture. This in turn conforms to the fundamental principle according to which equity acts, namely that a party having a legal right shall not be permitted to exercise it in such a way that the exercise amounts to unconscionable conduct — see Story, *Commentaries on Equity Jurisprudence*, 12th ed (1877), vol 2, par 1316.

It has been thought by some that the equitable jurisdiction to relieve against penalties and forfeitures is a branch of the jurisdiction to relieve in cases of accident. This view has been strongly contested — see Pomeroy's *Equity Jurisprudence*, 5th ed (1941), vol 2, par 433, p 206, n 18 — on the ground that the correct foundation of the jurisdiction was expressed by Lord Macclesfield LC in *Peachy v Duke of Somerset* (1721) 1 Str 447, 453; 93 ER 626, 630: "The true ground of relief against penalties is from the original intent of the case, where the penalty is designed only to secure money, and the Court gives him [the obligee] all that he expected or desired …"

The principle as expressed by Lord Macclesfield was modified and extended by Lord Thurlow LC who, in *Sloman v Walter* (1783) 1 Bro CC 418, 419; 28 ER 1213, 1214, expressed it in this way:

> The rule, that where a penalty is inserted merely to secure the enjoyment of a collateral object, the enjoyment of the object is considered as the principal intent of the deed, and the penalty only as accessional, and, therefore, only to secure the damage really incurred, is too strongly established in equity to be shaken.

It is, however, doubtful whether these comments, appropriate as they may have been to relief against penalties, were intended to apply with equal force to all cases of relief against forfeiture. There is more to be said for the view that when the equitable jurisdiction is invoked to relieve against a forfeiture which is not in the nature of a penalty, equity looks to unconscionable conduct, as Farwell J indicated in *Mussen's* Case [1938] Ch 253, 263-4, in the passage already quoted, especially when unconscionable conduct is associated with fraud, mistake, accident or surprise.

[445] A penalty, as its name suggests, is in the nature of a punishment for non-observance of a contractual stipulation; it consists of the imposition of an additional or different liability upon breach of the contractual stipulation: see, generally, *O'Dea v Allstates Leasing System (WA) Pty Ltd* (1983) 152 CLR 359. On the other hand, forfeiture involves the loss or determination of an estate or interest in property or a proprietary right, eg, a lease, in consequence of a failure to perform a covenant. When non-payment of rent or a fine is made the occasion for forfeiture of an estate or interest in property it may be proper to treat the forfeiture as being similar in character to a penalty because it is designed to ensure payment of the rent or fine. There is, however, a real distinction between "penalty" and "forfeiture" and it is unfortunate that the terms have been frequently used in a way which blurs it. The claims made by the purchasers in *Steedman v Drinkle* [1916] 1 AC 275 and *Brickles v Snell* [1916] 2 AC 599 were for relief against the "forfeiture" of instalments of purchase money. The relevant contracts, like the modern contract of sale, permitted the vendor to "forfeit" instalments of purchase money. In this situation, despite the use of the word "forfeit", relief is granted on the footing that the contractual provision entitling the vendor to retain the instalments is in substance a penalty, or in the nature of a penalty, because it is designed to ensure payment of the entire purchase price and it exceeds the damage which he suffers by reason of the purchaser's default.

The respondent's claim here is of a different kind to that involved in *Steedman v Drinkle* and *Brickles v Snell*. She seeks relief against forfeiture of her equitable interest as purchaser under a binding contract for sale. Forfeiture of the purchaser's interest, usually the consequence of the vendor's rescission

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for breach of an essential term, occurs under the general law regulating the rights of vendor and purchaser. Such a forfeiture is to be distinguished from a contractual forfeiture which is designed to ensure performance of a principal obligation. True it is that condition 5 expressly regulated the vendor's right of rescission in the present case and provided for rescission on non-compliance with the prescribed notice on expiration of the time limited. However, the presence of this contractual stipulation, which merely regulates the vendor's common law right to rescind, does not alter the essential character of the forfeiture of the purchaser's interest which occurs when rescission takes place. No doubt the risk of forfeiture is a strong inducement to completion of the contract, that being the primary intention of the parties, but it [446] is incorrect to describe the rescission for which condition 5 provides and the forfeiture of the purchaser's interest which it entails as a penalty or as being in the nature of a penalty.

In this Court it has been said that the purchaser's equitable interest under a contract of sale is commensurate only with her ability to obtain specific performance of the contract (*Brown v Heffer* (1967) 116 CLR 344, 349). On this view the loss of the respondent's equitable interest, from which she presently seeks to be relieved, was occasioned by her failure to comply with an essential condition of the contract, payment of the balance of the purchase price on 10 August 1979, the date fixed for completion by the appellant's rescission notice, time being of the essence by virtue of condition 5. Upon the expiration of the time fixed by the notice the contract came to an end.

A competing view — one which has much to commend it – is that the purchaser's equitable interest under a contract for sale is commensurate, not with her ability to obtain specific performance in the strict or primary sense, but with her ability to protect her interest under the contract by injunction or otherwise: *Tailby v Official Receiver* (1888) 13 App Cas 523, 546-9; *Redman v Permanent Trustee Co of New South Wales Ltd* (1916) 22 CLR 84, 96; *Hoysted v Federal Commissioner of Taxation* (1920) 27 CLR 400, 423; *Pakenham Upper Fruit Co Ltd v Crosby* (1924) 35 CLR 386, 396-9; Jordan, *Chapters on Equity*, 6th ed (1945), p 52, n (e). If this view were to be adopted and applied, the respondent's inability to obtain specific performance in the primary sense would not entail the loss of her equitable interest. She would retain that interest so long as she was entitled to make out a case for relief against forfeiture.

However, for the purposes of this case we are prepared to accept the correctness of the statement in *Brown v Heffer*. It then becomes necessary to look behind the authorities to the reasons which have been put forward to sustain the view that rescission in consequence of breach of an essential term is an absolute bar to relief against forfeiture of the purchaser's interest. Before doing so, we should make one comment on the authorities. *Steedman v Drinkle* and *Brickles v Snell* deny the exercise, rather than the existence, of jurisdiction to relieve against forfeiture of the purchaser's interest under a contract when he is in breach of an essential term and the contract has been brought to an end. If the purchaser in this situation fails to obtain relief it is because he is unable to bring [447] himself within the principles according to which relief is granted or refused, not because there is an absence of jurisdiction to grant him relief.

The rule that relief is never granted in respect of forfeiture by operation of law has no application to a forfeiture which occurs in consequence of a voluntary act done in the exercise of a legal right for, as we have seen, it is against such an act that relief is ordinarily granted. In this case rescission was the consequence of the respondent's non-compliance with a notice given by the appellants in exercise of the right conferred by condition 5. However, condition 5 does not affect the intrinsic character of rescission — essentially it is a voluntary act done by way of exercise of a legal right bringing about a legal consequence, the termination of the contract. Of course, if relief be granted against the vendor's voluntary act, the legal consequence flowing from that act – the rescission – is displaced and the purchaser's equitable interest is either continued or renewed.

Next there is the problem presented by the suggested unavailability of specific performance. Relief against forfeiture of the purchaser's interest under a contract for sale ordinarily involves an order for specific performance of the contract against the vendor, subject to compensation, that is, to the

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imposition of such terms as will fairly compensate him for insistence on completion of the contract in the altered circumstances occasioned by the purchaser's breach. The critical question then is: Should specific performance ever be ordered when the purchaser is in breach of an essential condition? The argument in favour of a negative answer is forceful. If parties expressly or impliedly stipulate that performance of a term is essential to their bargain then it would ordinarily be unjust to the innocent party to require him to complete notwithstanding a breach of that term. Generally speaking equity expects men to carry out their bargains and "will not let them buy their way out by uncovenanted payment": *Shiloh Spinners Ltd v Harding* [1973] AC 691, 723, per Lord Wilberforce. Nor will it remake the parties' contract simply because it transpires that as things have happened one party has made a bad bargain.

But if there be fraud, mistake, accident, surprise or some other element which would make it unconscionable or inequitable to insist on forfeiture of the purchaser's interest under the contract because he has not performed in strict accordance with its terms there is no injustice to the innocent party in granting relief against forfeiture by means of specific performance with or without compensation.

[448] *Cheney v Libby* (1890) 134 US 68 provides an illustration of an unconscionable rescission. There the Court ordered specific performance of a contract for the sale of land, time being of the essence, when the purchaser had failed on the due date to pay an instalment of purchase price in dollars, the stipulated mode of payment. The purchaser had been misled by the vendor's conduct into thinking that another form of payment would be accepted because it had been accepted by the vendor in the past. Once he knew the vendor refused to accept the payment, the purchaser promptly tendered payment in dollars, though the due date for payment had passed. The Court said (1890) 134 US 68, 78:

> Even where time is made material, by express stipulation, the failure of one of the parties to perform a condition within the particular time limited, will not in every case defeat his right to specific performance, if the condition be subsequently performed, without unreasonable delay, and no circumstances have intervened that would render it unjust or inequitable to give such relief. The discretion which a court of equity has to grant or refuse specific performance, and which is always exercised with reference to the circumstances of the particular case before it, (*Hennessy v Woolworth*, (1888) 128 US 438, 442) may, and of necessity must, often be controlled by the conduct of the party who bases his refusal to perform the contract upon the failure of the other party to strictly comply with its conditions.

After noting that forfeiture of the contract would enable the vendor "to take advantage of his own wrong" (1890) 134 US 68, 79, the Court went on to say (1890) 134 US 68, 80 that the provisions of the contract – "cannot be applied where the efficient cause of the failure of the party seeking specific performance to comply strictly and literally with the contract was the conduct of the other party". The foregoing discussion indicates that the Judicial Committee in *Steedman v Drinkle* and *Brickles v Snell* gave more weight to the value of enforcing contracts according to their strict terms and less attention to the fundamental principle which underlies the exercise of the equitable jurisdiction to relieve against forfeiture than we are disposed to give them. That the Judicial Committee did so is readily understandable because in the early part of this century overriding importance attached to the concept of freedom of contract and to the need to hold parties to their bargains. These considerations, though still important, should not be allowed to override competing [449] claims based on long standing heads of justice and equity. The result of the two decisions was to enunciate an inflexible rule that specific performance will never be granted where there is a breach of an essential condition, thereby diminishing the utility of the remedy in cases of relief against forfeiture. A preferable course is to adjust the availability of the remedy so that it becomes an effective instrument in situations in which it is necessary to relieve against forfeiture of the purchaser's interest under a contract for sale. The rule would then be expressed by saying that it is only in exceptional circumstances that specific performance will be granted at the instance of a purchaser who is in breach of an essential condition.

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Whether the exceptional circumstances exist in a given case hinges on the existence of unconscionable conduct. It is impossible to define or describe exclusively all the situations which may give rise to unconscionable conduct on the part of a vendor in rescinding a contract for sale. None the less it may be said that where the conduct of the vendor, though not creating an estoppel or waiver, has effectively caused or contributed to the purchaser's breach of contract there is ground for exercising the jurisdiction to relieve. And if it also appears that the object of the rescission is not to safeguard the vendor from adverse consequences which he may suffer as a result of the contract remaining on foot, but merely to take unconscientious advantage of the benefits which will fortuitously accrue to him on forfeiture of the purchaser's interest under the contract, there will be even stronger ground for the exercise of the jurisdiction.

In the ultimate analysis the result in a given case will depend upon the resolution of subsidiary questions which inevitably arise. The more important of these are: (1) Did the conduct of the vendor contribute to the purchaser's breach? (2) Was the purchaser's breach (a) trivial or slight, and (b) inadvertent and not wilful? (3) What damage or other adverse consequences did the vendor suffer by reason of the purchaser's breach? (4) What is the magnitude of the purchaser's loss and the vendor's gain if the forfeiture is to stand? (5) Is specific performance with or without compensation an adequate safeguard for the vendor? In the present case we can answer the first two of these questions favourably to the respondent by reference to the evidence. Although we have concluded that the statement made on 9 August 1979 by Miss Williams to Mr Gardiner was not sufficiently clear and unequivocal to ground an estoppel against the appellants, it nevertheless created the impression in Mr Gardiner's mind that settlement would take place on 17 August or such earlier date, being a reasonable time, as might be advised if the appellants were not [450] prepared to extend the time for completion until 17 August. Granted that this was not the impression that Miss Williams intended to convey by her words and that it is not the construction which we place upon them, the words were capable of being understood in the sense in which Mr Gardiner understood them.

We have already found that Mr Gardiner acted in reliance on the statement made by Miss Williams as he understood it. The consequence is that the purchaser's breach was inadvertent and not wilful. In this context it seems that the breach was not a serious breach, though its impact on the vendor's position remains to be ascertained.

Of course we know that forfeiture will entail the loss by the respondent and the acquisition by the appellants of the value of the dwelling house which the respondent and her husband erected on the land at a cost of $35 000 after going into possession. In the absence of countervailing circumstances this consequence in itself might tend to suggest that the rescission was, in the circumstances of inadvertent breach, unconscientious and that the appellants are acting unconscionably in insisting that the rescission should stand. However, the evidence as it presently stands does not enable us to answer question 4 fully or to answer questions 3 and 5 above. It is a deficiency that presents a very real problem in deciding whether the respondent should be allowed to argue a case in favour of relief against forfeiture. The normal rule is that a party will not be permitted to argue a point, neither raised on the pleadings, nor fought at the trial, when further evidence might possibly affect the result. In this case, however, the Court has decided that the respondent should be at liberty to raise the point on this appeal. An important factor in that decision was the consideration that an investigation of the issue at first instance would have been abortive in view of the decisions in *Steedman v Drinkle* [1916] 1 AC 275 and *Brickles v Snell* [1916] 2 AC 599 which were binding on the Supreme Court.

The conclusion which we have reached is that the Court had jurisdiction to relieve against forfeiture in the circumstances of this case, that there is a serious question to be tried in the exercise of that jurisdiction and that the decision in the case will ultimately depend on considerations to which the parties have not had the opportunity of directing evidence. We would therefore remit the case to the Supreme Court for determination of the respondent's claim to be relieved from the forfeiture of her interest under the contract of sale. In all the circumstances, there should be no order as to costs of the [451] proceedings in this Court. In the event that the respondent succeeds in obtaining an order for the enforcement of the contract on the further hearing of the proceedings in the Supreme Court of

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Victoria, there should be no order as to the costs of the appeal from Murray J to the Full Court of the Supreme Court. In the event that the respondent fails to obtain such an order for the enforcement of the contract, the respondent should be ordered to pay the appellants' costs of the appeal to the Full Court. The costs of the proceedings at first instance, including the costs of the hearing before Murray J, and the costs of the proceedings on remitter to the Supreme Court, should be reserved to be dealt with by the Judge of the Supreme Court before whom the matter comes on further hearing.

[25.95] BRENNAN J (dissenting): … Could Miss Williams' statement have been understood reasonably by Mr Gardiner as making a promise or representation that, although the time for compliance with the notice might expire, the contract would not become rescinded while instructions were being obtained and for a reasonable time thereafter? The courtesies commonly observed by solicitors negotiating on their clients' behalf may give rise to an expectation that the status quo will be maintained as between their clients while instructions are being obtained, but whether a conversation which engenders such an expectation amounts to a promise or representation binding on the clients depends upon all the relevant circumstances. A relevant circumstance is the known limits of a solicitor's authority in the matter. Negotiations between solicitors are negotiations between agents, and the known limits of the authority – albeit the apparent or implied authority – of the respective agents define the ambit of their negotiations and thus shape the promises or representations binding upon the clients which can be inferred from the course of the negotiations. Generally speaking, when a party gives a notice to another party to secure or to facilitate the exercise of the first party's rights – such as the notice given by the vendors to the purchasers in the present case – the solicitor for the first party has no apparent or implied authority to countermand or qualify the effect of the notice in order to grant an indulgence to the other party. The solicitor for the party who gives the notice has no apparent or implied authority in such a case to make a binding promise or representation affecting the operation of the notice; he would need his client's instructions to permit him to do so. The solicitor for the [454] other party must be taken to know of that limitation in the absence of facts showing a wider authority …. Without any indication of a wider authority, it is not possible to infer that an undertaking by the vendors' solicitors to obtain further instructions amounted to a promise or representation that the notice would be countermanded or its operation suspended so as to keep the vendors bound by the contract after the time for rescission had passed. It is not necessary to consider what the position may have been if Miss Williams had represented that she had instructions authorizing her to extend the time for compliance with the notice. The question whether a statement by a solicitor that he has authority wider than his apparent or implied authority estops his client from denying the extent of the authority claimed does not arise upon the facts of the present case. This case turns on the anterior question, namely, whether it is to be inferred that Miss Williams, though she did not say so expressly, promised or represented on behalf of the vendors that the time for compliance with the notice was to be extended and the contract was to be kept on foot while she was obtaining instructions and during a reasonable time thereafter. Having regard to the limit upon her apparent or implied authority at the time – a limit which Mr Gardiner must be taken to have known – no such promise or representation can be inferred. If Miss Williams' statement that she expected that the vendors would agree to the extension sought by Mr Gardiner lulled him into believing that the vendors would not insist upon the rescission which was then imminent, his belief was induced by his sharing of Miss Williams' expectation as to what the vendors' [455] instructions would be, not by any promise or representation made by her on the vendors' behalf.

It follows that, in my opinion, Murray J at first instance was right to refuse the respondent a decree of specific performance, and that the appeal to the Full Court ought to have been dismissed. That appeal was allowed by a majority of the Full Court, and the respondent now seeks to maintain the Full Court's judgment in reliance upon a ground not argued before Murray J or before the Full Court. The respondent seeks relief against the forfeiture of her interest in the land the subject of the contract of sale. She went into possession, as she was entitled under cl 7 of the contract of sale, after paying the deposit in July 1978 and she erected a dwelling on the land at a cost of $35 000. If she is required to give up possession of the land, she will lose the benefit of that expenditure. The respondent

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submits that where default is made in the timeous payment of the residue of the purchase price under a contract of sale of land where time is of the essence and the vendor rescinds the contract, the consequential loss of the purchaser's interest in the land is a forfeiture against which equity can and will relieve in a proper case.

… [456] Where conveyance is the real consideration for payment of the price, it would be a penalty for the vendor to exact the price without conveying. Ordinarily a vendor who does not convey is denied the right to recover or retain the price or instalments of the price in excess of a reasonable deposit either because conveyance is treated as a condition of the obligation to pay the price or because a payment of the price or of an instalment of the price in advance of conveyance is treated as "a provisional payment defeasible by the subsequent failure, for any cause, of the real consideration": per Dixon J in *Automatic Fire Sprinklers Pty Ltd v Watson* (1946) 72 CLR 435, 465. And thus the purchaser has relief against the forfeiture of the price in excess of a reasonable deposit. But where there is a stipulation which entitles the vendor to retain the whole of the price or of an instalment of the price though he does not convey, the penalty can be avoided by directing conveyance upon payment of the balance (if any) of the price. *Dagenham Dock* and *Kilmer* may be seen as instances where relief was given against forfeiture of the estate under a contract which involved the retention of the purchase money by the vendor in the event of default by the purchaser. At all events, that was the explanation which Dixon J propounded in *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457, 478.

In the present case, the contract contains no special stipulation involving retention of the purchase money by the vendors, and there is no ground for relieving the defaulting purchaser against forfeiture of her interest in the land rather than against forfeiture of the payments of instalments of the purchase price. Indeed, the only rights which the purchaser acquired in the land were her rights under the contract and her interest in the land, being an equitable interest, is commensurate with the relief which equity would give her by way of enforcing the executory contract of sale — usually by a decree of specific performance: *Brown v Heffer* (1967) 116 CLR 344, 349; *Redman v* [457] *Permanent Trustee Co of New South Wales Ltd* (1916) 22 CLR 84, 96. Under an executory contract in which time is of the essence and which contains no special stipulation involving retention of the purchase money by the vendor, a purchaser who fails to pay the balance of the price at the stipulated time and who thereby loses his right to a decree to enforce the contract, loses his interest in the land. He is not entitled to the land as purchaser otherwise than under the contract; he has no entitlement to relief against forfeiture of his interest in the land independent of his right to a decree to enforce the contract.

[Brennan J discussed *Steedman v Drinkle* [1916] 1 AC 275 and *Brickles v Snell* [1916] 2 AC 599.] …

The relief to which a defaulting purchaser is entitled if he loses his right to specific performance is relief against the forfeiture of the purchase price other than a reasonable deposit: *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457; *Mayson v Clouet* [1924] AC 980; *Linggi Plantations Ltd v Jagatheesan* [1972] 1 MLJ 89 (PC). The purchaser has no entitlement to relief against forfeiture of the equitable interest that he would have had but for his default and that he has lost by reason of that default.

The respondent lost her interest in the land because she did not pay the residue of the price at the time she had promised, though she had agreed that time was of the essence of her contract. There is no equitable jurisdiction to relieve against the consequences of failure to pay the residue of the purchase price by the due date when the parties have agreed that the time of payment is of the essence of their contract: cf per Lord Wilberforce in *Shiloh Spinners Ltd v Harding* [1973] AC 691, 723. The purchaser, having lost her right to specific performance, has lost the benefit of the expenditure which she outlaid in putting a dwelling on the land. The appellants have obtained the benefit of that expenditure, but that circumstance does not destroy or sterilize the stipulation that time should be of the essence of the contract. If it had been possible to relieve the respondent against forfeiture of her interest in the land, the vendors' position would have required consideration: see *Shiloh Spinners Ltd v Harding* [1973] AC 691, 722. The question whether it would have been unjust to the vendors to foist a late payment of purchase moneys upon them would have required consideration. That question was not [459] investigated at the trial and it cannot be investigated on appeal to this Court. However, as

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I am unable to uphold the new argument relied on by the respondent, I would allow the appeal and restore the judgment of Murray J.

Appeal allowed.

[Remit the case to the Supreme Court of Victoria for determination of the respondent's claim to be relieved from the forfeiture of her interest under the contract of sale.]

[25.100] **Note**

On the need for a clear promise or representation to establish a promissory or equitable estoppel, see *Crown Melbourne Ltd v Cosmopolitan Hotel (Vic) Pty Ltd* [2016] HCA 26; (2016) 260 CLR 1, [35], [142]–[143].

Tanwar Enterprises v Cauchi

[25.105] *Tanwar Enterprises Pty Ltd v Cauchi* [2003] HCA 57; (2003) 217 CLR 315 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: The vendors owned three adjoining parcels of land at Glenwood, New South Wales. In October 1999, they entered into separate contracts to sell the land to Tanwar for a combined price of $4,502,526.90. Tanwar paid two sums of $225,126.32 as deposits. In addition, between 30 June 2000 and 20 July 2000, Tanwar paid a total of $397,473.40 towards the purchase price. On 20 July 2000, Tanwar also paid a total of $80,000 in consideration of an extension of the completion date from 28 February 2000 to August 2000. On 20 August 2000, the vendors issued notices of termination of each contract. However, the parties negotiated an extension. The parties entered into a deed which contained a new completion date of 25 June 2001. Time was stated to be of the essence. The funds for a second mortgage over the combined land were to come from Singapore. The funds did not arrive until 26 June 2001. The vendors served notice of termination of each contract. Tanwar commenced proceedings in the Supreme Court of New South Wales for relief against forfeiture and for specific performance of each contract or, alternatively, for return of each deposit. The primary judge rejected the claim to relief against forfeiture. The Court of Appeal dismissed Tanwar's appeal. Tanwar appealed this judgment.]

GLEESON CJ, MCHUGH, GUMMOW, HAYNE and HEYDON JJ:

The history of the litigation

[320] The case did not proceed on pleadings. Had there been pleadings, the issues of legal principle with which the Court of Appeal was, and now this Court is, concerned may have more readily appeared. To plead its suit as purchaser for specific performance (and for related declaratory relief), Tanwar would allege the making of each contract and the relevant terms, its performance and its readiness and willingness to perform the terms of the contract then to be performed, and its readiness and willingness to do all matters and things on its part thereafter to be done (*Fitzgerald v Masters* (1956) 95 CLR 420 at 434; *Green v Sommerville* (1979) 141 CLR 594, 610). To that, the respondents as vendors no doubt would respond that, in the events that had happened, and before the institution of the suit, the contracts had been brought to an end by the giving of the notices of termination on 26 June, there being contractual stipulations that time was of the essence.

It then would be for Tanwar to reply that, in the events that had happened, in equity time had not been of the essence on 26 June or, more precisely, that it was unconscientious of the vendors to plead the essential time stipulation and its breach as founding the purported termination on 26 June

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(cf Spry, *The Principles of Equitable Remedies*, 6th ed (2001) at 211). That would focus attention upon what, as a matter of law and fact, was involved in the alleged unconscientious use by the vendors of their legal rights, given in terms by the contracts, to terminate upon failure by Tanwar to complete by 4.00 pm on 25 June. That is the essential issue in the case as it stands in this Court.

The leading judgment in the Court of Appeal was delivered by Handley JA. His Honour gave detailed consideration to the decisions of this Court in *Legione v Hateley* (1983) 152 CLR 406 and *Stern* (1988) 165 CLR 489 and concluded that those two cases "lack a clear ratio which is binding on this Court". Handley JA also observed, with reference to the decision of the Privy Council in the Hong Kong appeal *Union Eagle Ltd v Golden Achievement Ltd* [1997] AC 514, that it was "also clear that equitable relief will be available in Australia in circumstances where it would be refused in England". In this Court, each side sought support from one or more of the judgments in *Legione* and *Stern*. Neither side sought leave to re-open those cases, but there was a measure of disagreement as to the propositions of law for which they are authority ….

[321] At the trial, it appears not to have been disputed that Tanwar would be entitled in equity to relief against the forfeiture of the $397,473.40 representing part-payment of the purchase price were it to fail to obtain orders for specific performance of the contracts. If Tanwar were to succeed in obtaining specific performance, any question of this [322] forfeiture would cease to be of significance. As indicated above, the essential issue in this case is different. It concerns the alleged unconscientious reliance upon the essential time stipulation to found the termination of the contracts which Tanwar, for its part, wishes to complete.

The distinction sought to be made in the last paragraph may be seen in the statement by Gaudron J in *Stern* (1988) 165 CLR 489, 537:

> The issue raised by a purchaser who seeks specific performance of a contract which has been rescinded is not whether relief should be granted against the forfeiture of the interest arising under that contract, but whether specific performance remains an available remedy notwithstanding rescission …

The essential issue

[324] It now is convenient to return to the essential issue identified earlier in these reasons. Wherein lies the alleged unconscientious use by the vendors of their legal right to terminate upon failure by Tanwar to complete in accordance with the essential time stipulation imposed by the 2001 Deeds?

Unconscionable conduct

[25.110] The terms "unconscientious" and "unconscionable" are, as was emphasised in *Australian Competition and Consumer Commission v C G Berbatis Holdings Pty Ltd* (2003) 77 ALJR 926 at 933-934 [42]-[43], used across a broad range of the equity jurisdiction. They describe in their various applications the formation and instruction of conscience by reference to well developed principles. Thus, it may be said that breaches of trust and abuses of fiduciary position manifest unconscientious conduct; but whether a particular case amounts to a breach of trust or abuse of fiduciary duty is determined by reference to well developed principles, both specific and flexible in character. It is to those principles that the court has first regard rather than entering into the case at that higher level of abstraction involved in notions of unconscientious conduct in some loose sense where all principles are at large.

The term "unconscionable conduct" is used in authorities such as *Legione* and *Stern*. There is nothing new in this. The terms "unconscionable" and "against conscience" were, for example, used without distinction by Farwell J in *Mussen v Van Diemen's Land Co* [1938] Ch 253 at 262-263 in 1937. However, as Deane J explained in *The Commonwealth v Verwayen* (1990) 170 CLR 394 at 440-441, (see also *Australian Broadcasting Corporation v Lenah Game Meats Pty Ltd* (2001) 208 CLR 199 at 227 [45]; *Australian Competition and Consumer Commission v C G Berbatis Holdings Pty Ltd* (2003) 77 ALJR 926 at 933 [41]), with reference to the discussion by Story (*Commentaries on Equity Jurisprudence*, 2nd

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Eng ed (1892), §1219) of the lien of the unpaid vendor, the term "unconscionable" is used to refer to that which [365] "ought not, in conscience," be allowed as between the parties; the purchaser, having taken a conveyance of the estate of the vendor, should not be allowed to keep it without payment of the full purchase price. Hence, as Deane J also pointed out ((1990) 170 CLR 394 at 444), "unconscientious" is the more accurate term.

In the present case, that more accurate term directs attention to the question why the vendors ought not to be heard to assert the exercise of their legal right to terminate in answer to the claim by Tanwar for [325] specific performance. The conscience of the vendors which equity seeks to relieve is, as Gleeson CJ put it in *Australian Broadcasting Corporation v Lenah Game Meats Pty Ltd* (2001) 208 CLR 199 at 227 [45], a "properly formed and instructed conscience".

In *Guise v Kouvelis* (1947) 74 CLR 102 at 116, when considering the defence of qualified privilege in defamation law, Dixon J lamented the lot of the judge called upon to apply "broad" or "flexible" categories or tests of responsibility or immunity. Nevertheless, as this Court emphasised in the judgment in *Jenyns v Public Curator (Q)* (1953) 90 CLR 113 at 119 per Dixon CJ, McTiernan and Kitto JJ, to which Dixon CJ was a party, the application of equitable doctrines and remedies may turn upon close analysis of the facts of the particular case. Cases of alleged undue influence and catching bargains are obvious examples; that is because the governing equitable principle in this field is concerned with the production by malign means of an intention to act. In that context, it is easy to speak of the conduct of the stronger party as unconscionable. But the phrase "unconscionable conduct" tends to mislead in several respects.

First, it encourages the false notions that (i) there is a distinct cause of action, akin to an equitable tort, wherever a plaintiff points to conduct which merits the epithet "unconscionable"; and (ii) there is an equitable defence to the assertion of any legal right, whether by action to recover a debt or damages in tort or for breach of contract, where in the circumstances it has become unconscionable for the plaintiff to rely on that legal right cf *Kalamazoo (Aust) Pty Ltd v Compact Business Systems Pty Ltd* [1990] 1 Qd R 231 at 258-259.

Secondly, and conversely, to speak of "unconscionable *conduct*" as if it were all that *need* be shown may suggest that it is all that *can* be shown and so covers the field of equitable interest and concern. Yet legal rights may be acquired by conduct which pricks no conscience at the time. A misrepresentation may be wholly innocent. However, at the time of attempted enforcement, it then may be unconscientious to rely upon the legal rights so acquired. To insist upon a contract obtained by a misrepresentation now known to be false is, as Sir George Jessel MR put it in *Redgrave v Hurd* (1881) 20 Ch D 1 at 12-13, "a moral delinquency" in a court of equity.

Thirdly, as a corollary to the first proposition, to speak of "unconscionable conduct" may, wrongly, suggest that sufficient foundation for the existence of the necessary "equity" to interfere in relationships established by, for example, the law of contract, is supplied by an element of hardship or unfairness in the terms of the transaction in question, or in the manner of its performance. The [326] vendors contend that the thrust of the submissions by Tanwar reveals this weakness in its case.

Legione

[25.115] In submissions, extensive reference was made to the decision in *Legione* (1983) 152 CLR 406. That case made it plain that the principles identified as promissory or equitable estoppel may operate to preclude the enforcement of contractual rights and so may estop a party from treating the contract in question as terminated for failure to meet an essential time stipulation. The division of opinion within the Court turned upon the question whether a particular telephone conversation was sufficient to found the necessary estoppel; in particular, whether the conversation contained a representation of the necessary clarity to the effect that observance of the time stipulation was not insisted upon. The majority (Mason, Brennan and Deane JJ) held that the terms of the conversation did not meet the necessary standard. The facts of the present appeal supply no foundation for an estoppel against reliance by the vendors upon the essential time stipulation in the 2001 Deeds.

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In *Legione* (1983) 152 CLR 406 at 411, the Court also received written submissions upon a further question. This was identified as being whether the purchasers should be relieved against "the forfeiture" brought about by the notice of rescission. Pursuant to the contract, the purchasers had been entitled to go into possession on payment of the deposit. They had done so and had built a house on the land before the due date for completion which was nearly 12 months after the date of the contract.

The "forfeiture point" had not been pursued to any degree at the trial in *Legione* and the order made by this Court was that the case be remitted to the Supreme Court of Victoria for the determination of that issue ((1983) 152 CLR 406 at 459). The conclusion reached by Mason and Deane JJ had been that the Supreme Court had the necessary jurisdiction to relieve against forfeiture and that there was a serious question to be tried in the exercise of that jurisdiction (1983) 152 CLR 406 at 450. Gibbs CJ and Murphy J concurred in the order giving effect to that conclusion (1983) 152 CLR 406 at 429-430. Brennan J dissented.

Subsequently, in the joint judgment of five members of the Court in *Ciavarella v Balmer* (1983) 153 CLR 438 at 449-450, it was held that there was no evidence to found any estoppel against termination of the contract for sale of land. An application to amend the notice of appeal in this Court so as to claim relief against forfeiture was refused ((1983) 153 CLR 438 at 453-454). The Court described as [327] follows the circumstances which had led to the order of remittal in *Legione* (1983) 153 CLR 438 at 453:

> [T]he material in evidence strongly indicated unconscionable conduct on the part of the vendor in seeking to insist on the rescission of the contract in circumstances where the statement of the vendor's solicitors had helped lull the purchaser into a belief that the vendor would accept completion provided it took place within a few days and where the consequence of rescission was that the vendor would reap the benefit of the very valuable improvements which the purchaser had effected to the property.

In the present appeal, there is nothing to suggest that the vendors lulled Tanwar into any relevant false sense of security. To the contrary, the terms of the 2001 Deeds strikingly demonstrated an attitude by the vendors which would keep Tanwar on edge.

What then remains to support any case of unconscientious reliance by the vendors upon their legal right to terminate? It is convenient at this stage to consider the decision in *Stern*.

Stern

[25.120] The dispute concerned an instalment contract made in 1969 under which the last instalment would be paid in 1983. Time was made of the essence, after various vicissitudes, by notice given in 1979. Completion did not take place when specified and, in response to an action for an order for possession, the purchasers cross-claimed for specific performance and relief against forfeiture of their estate and interest in the land. By majority (Deane, Dawson and Gaudron JJ), the Court upheld the order of the New South Wales Court of Appeal (*McArthur v Stern* (1986) 5 NSWLR 538 at 558). This ordered relief against forfeiture and specific performance on terms including an inquiry as to the balance of the purchase money still owing and the interest to be payable thereon.

Deane and Dawson JJ said that "the contract as it was carried into effect was essentially an arrangement whereby the appellants undertook to finance the respondents" purchase upon the security of the land' so that "there was a close and obvious parallel between it and a purchase with the aid of a mortgage" ((1988) 165 CLR 489 at 528). The contracts between Tanwar and the vendors do not share that characteristic.

Gaudron J, the third member of the majority in *Stern*, doubted whether the instalment contract there in question was in substance part of a security transaction ((1988) 165 CLR 489 at 540; cf *Union Eagle Ltd v Golden Achievement Ltd* [1997] AC 514 at 522). Her Honour decided the appeal on a wider footing. This was that a decree of specific performance would secure all that the vendors

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had bargained for, whereas to deny that [328] remedy would prejudice the purchasers. A house had been built on the land, the land had increased in value and the balance unpaid was a relatively insignificant amount ((1988) 165 CLR 489 at 540-541). These circumstances, to which the vendors had not contributed, made it unconscionable for the vendors to insist on their contractual rights.

On the other hand, Mason CJ (in the minority as to the outcome) stressed that this was not a case like *Legione* where the conduct of the vendors had led to, caused, or contributed to, the breach of contract by the purchasers ((1988) 165 CLR 489 at 503-504). At bottom, the case put by Tanwar depends upon acceptance of the view of the equity jurisdiction taken by Gaudron J at the expense of that preferred by Mason CJ. The view of Mason CJ should be accepted.

Mason CJ and *Stern*

[25.125] In *Legione*, Mason and Deane JJ instanced "fraud, mistake, accident, [and] surprise" as elements which may make it inequitable to insist on termination of a contract for failure to observe its strict terms ((1983) 152 CLR 406 at 447-448). Subsequently, in *Stern* (1988) 165 CLR 489 at 502-503, Mason CJ took *Legione* and *Ciavarella* as establishing that the court will not readily relieve against loss of a contract for sale validly rescinded by the vendor for breach of an essential condition; and, in particular, equity was not authorised "to reshape contractual relations into a form the court thinks more reasonable or fair where subsequent events have rendered one side's situation more favourable" ((1988) 165 CLR 489 at 503). That latter proposition is at odds with the approach by Gaudron J in *Stern*, to which reference has been made earlier in these reasons at [35], but, nevertheless, it should be accepted as an accurate statement of the law. The result, as indicated above, is that Tanwar's case on the appeal is significantly weakened.

Mason CJ dissented as to the outcome in *Stern*, but this was to a significant degree because of the view he took of the nature of the particular contract in question and the denial of an analogy drawn, particularly by Deane and Dawson JJ ((1988) 165 CLR 489 at 528), to a mortgage transaction. To the extent that what Mason CJ said in *Stern* represented a development (or, perhaps, a contraction) of what had been put in the earlier cases, then it is to be preferred.

In *Stern* (1988) 165 CLR 489 at 502-503, Mason CJ also stated that equity intervenes only where the vendor has, by the vendor's conduct, caused or contributed to a circumstance rendering it unconscionable for the vendor to insist upon its legal rights. That helps explain why mere supervening events and changes in the relevant circumstances are insufficient. But it should be [329] noted that cases falling within the heads of mistake or accident will not necessarily be the result of activity by the vendor. In addition, his Honour spoke in *Stern* (1988) 165 CLR 489 at 502-503 of the circumstances being "exceptional" to attract equitable intervention. That also emphasised the insufficiency of subsequent events which are adverse to the interests of one side. However, the term "exceptional" is apt to be misunderstood, and it will be necessary to return to it later in these reasons under the heading "The present appeal".

Subsidiary questions?

[25.130] In *Legione*, Mason and Deane JJ had concluded their analysis of what they saw as the relevant principles by saying as follows (1983) 152 CLR 406 at 449:

> In the ultimate analysis the result in a given case will depend upon the resolution of subsidiary questions which inevitably arise. The more important of these are: (1) Did the conduct of the vendor contribute to the purchaser's breach? (2) Was the purchaser's breach (a) trivial or slight, and (b) inadvertent and not wilful? (3) What damage or other adverse consequences did the vendor suffer by reason of the purchaser's breach? (4) What is the magnitude of the purchaser's loss and the vendor's gain if the forfeiture is to stand? (5) Is specific performance with or without compensation an adequate safeguard for the vendor?

Tanwar relies upon those five "subsidiary questions". It accepts that the first question should be answered unfavourably because the conduct of the vendors did not contribute to Tanwar's breach. However, Tanwar says that its breach was trivial or slight, or inadvertent, that the vendors have suffered

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but nominal damage and no adverse consequences, that specific performance would be an adequate safeguard for the interests of the vendors, and that the vendors stood to gain the advantages flowing from the expenditure by Tanwar in obtaining the development approvals, together with the increase in value of the land which apparently occurred between the date of the contracts and the termination.

With respect to the third, fourth and fifth "subsidiary questions" posed in *Legione* by Mason and Deane JJ, the vendors respond that Tanwar entered into arrangements with the proposed second mortgagees dependent upon the arrival of funds from Singapore on the last day when settlement was required under the 2001 Deeds, and that notions of trivial or inadvertent breach must be considered in that light. With respect to the alleged increase in value, the vendors, correctly, emphasise that the first of the comparative dates is not 19 October 1999, but 5 June 2001, the date of the 2001 Deeds. This postdated the obtaining of the development approvals on 18 February [330] 2000. In any event, there had been no valuation evidence to found any specific finding respecting increase in value due to those consents or to other market forces. No such finding had been made. However, it was accepted that the benefit of the approvals would, with termination, accrue to the vendors. But that was an inevitable outcome bargained for when the 2001 Deeds had been negotiated.

The "interest" of Tanwar

[25.135] The vendors also challenge the doctrinal basis for treating as determinative of Tanwar's appeal these five "subsidiary questions". The vendors are correct in doing so.

What was said by Mason and Deane JJ in *Legione* respecting the "subsidiary questions" must be treated with care. That to which the questions are said to be "subsidiary" is the basic issue presented earlier in their joint judgment. This is expressed as ((1983) 152 CLR 406 at 440):

> the respondent's submission that she is *entitled to relief against the forfeiture of her interest in the land* upon terms that she pay to the appellants the amount of $30,188.24 that was tendered to them on 15 August 1979 and not accepted, being the balance of the purchase moneys under the contract. (emphasis added)

But what, if any, was the interest in the land enjoyed by Tanwar as purchaser? If there was such an interest, did it attract the exercise of the jurisdiction to relieve against forfeiture? What is the relationship between, on the one hand, the attitude of equity respecting forfeiture, and, on the other hand, the attitude of equity respecting the observance of express time stipulations?

Without answers to these questions, the significance for this appeal of the basic issue expressed in *Legione*, and thus the relevance of the five "subsidiary questions", cannot be assessed. But the answers are to be supplied only by a patient examination of several fundamentals, the understanding of which by equity courts has changed across time.

One commences by identifying the "interest" of a purchaser in the land the subject of an uncompleted contract. In *Lysaght v Edwards* (1876) 2 Ch D 499 at 506, Sir George Jessel MR described the position of the vendor at the moment of entry into a contract of sale as "something between" a bare trustee for the purchaser and a mortgagee who in equity is entitled to possession of the land and a charge upon it for the purchase money; in particular, the vendor had the right in equity to say to the purchaser "[e]ither pay me the purchase-money, or lose the estate". This way of looking at the relationship in equity between vendor and purchaser before completion appeared also in the works of eminent [331] writers of the period in which the Master of the Rolls spoke (Maitland, *Equity*, 2nd ed rev (1936) at 314-315; Pomeroy, *A Treatise on the Specific Performance of Contracts* (1879), §§315, 322, 389; Williams and Lightwood, *A Treatise on the Law of Vendor and Purchaser of Real Estate and Chattels Real*, 4th ed (1936), vol 1 at 59-60.) Later, Kitto J (*Haque v Haque [No 2]* (1965) 114 CLR 98 at 124) and Brennan J (*KLDE Pty Ltd v Commissioner of Stamp Duties (Q)* (1984) 155 CLR 288 at 301) preferred to treat what was said in *Lysaght* as indicating that "to an extent" the purchaser acquired the beneficial ownership upon entry into the contract.

This analogical reasoning in turn suggested (i) the purchaser had before completion an equitable estate in the land which would be protected against loss consequent upon termination of the contract

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by the principles developed in equity for relief against forfeiture and (ii) in the same way as failure to redeem a mortgage upon the covenanted date for repayment did not destroy the equity of redemption without the proper exercise of a power of sale (*Latec Investments Ltd v Hotel Terrigal Pty Ltd (in liquidation)* (1965) 113 CLR 265 at 274-275) or a foreclosure suit in equity (Maitland, *Equity*, 2nd ed rev (1936) at 182-183), failure to complete the contract on the due date did not bar the intervention of equity to order specific performance.

But what, on this way of looking at the matter, was the significance of a contractual stipulation specifying a date for completion as essential? The treatment by the English equity judges of this subject developed in the course of the nineteenth century, as Justice Lindgren has detailed in his extrajudicial writing on the subject (*Time in the Performance of Contracts*, 2nd ed (1982), [210]-[222]). While Lord Thurlow would have pushed the mortgage analogy to the extreme that a time stipulation in equity could never be essential unless there was something in the nature of the subject-matter of the contract, such as its fluctuating or depreciating value (Hanbury, *Modern Equity*, 8th ed (1962) at 85-86), to give it that quality, his view was doubted by Lord Eldon in *Seton v Slade* (1802) 7 Ves Jun 265; 32 ER 108. (See also Pomeroy, *A Treatise on the Specific Performance of Contracts*, (1879), §389) and rejected by Sir Lloyd Kenyon MR in *Mackreth v Marlar* (1786) 1 Cox 259; 29 ER 1156.

If the express contractual stipulation fixing time as an essential matter was not to be disregarded, how did that attitude stand with the analogy drawn from the relief against forfeiture cases? The answer given by Pomeroy (*A Treatise on the Specific Performance of Contracts* (1879), §391), with reference to *In re Dagenham (Thames) Dock Co, Ex parte Hulse* ((1873) LR 8 Ch App 1022), was that equity would relieve the purchaser from the operation of an essential time stipulation, "and from the forfeiture", if the provision was inserted as a penalty to [332] secure completion of the contract at the purchaser's risk of loss of the equitable interest in the land under the executory contract.

That reasoning, together with the authority of *Dagenham*, was relied upon in the majority judgments in *Legione* (1983) 152 CLR 406 at 426, 441. What the Court of Appeal in Chancery decided in *Dagenham*, and on what facts and grounds, is not fully apparent from the abbreviated report (See Harpum, "Relief Against Forfeiture and the Purchaser of Land" (1984) *Cambridge Law Journal* 134 at 147-148). But it must be remembered that in *Dagenham* there had been forfeiture of a payment of half the purchase price, so that it was not surprising that the forfeiture was treated as penal (Lang, "Forfeiture of Interests in Land" (1984) 100 *Law Quarterly Review* 427 at 434-435).

It should be added that, in *Dagenham*, as in *Stern* and other instalment contract cases, there would have existed an equitable lien securing for the purchaser the payments so made (*Hewett v Court* (1983) 149 CLR 639 at 663-664). It has been held in this Court that the lien may be enforceable even though there may be a good defence to a claim to specific performance of the contract (*Hewett v Court* (1983) 149 CLR 639 at 650, 664). It is the payment and retention of the moneys, not the availability of specific performance, which is critical (*Rose v Watson* (1864) 33 LJ Ch (NS) 385 at 389-390). But there remains the question, unnecessary to decide here, whether the lien of the purchaser necessarily is lost upon termination of the contract for breach by the purchaser of an essential time stipulation (Harpum, "Relief Against Forfeiture and the Purchaser of Land" (1984) *Cambridge Law Journal* 134 at 139).

At all events, the analogies drawn over a century ago in *Lysaght* (1876) 2 Ch D 499 at 506 with the trust and the mortgage are no longer accepted. Jacobs J observed in *Chang v Registrar of Titles* (1876) 2 Ch D 499 at 506 that:

> [w]here there are rights outstanding on both sides, the description of the vendor as a trustee tends to conceal the essentially contractual relationship which, rather than the relationship of trustee and beneficiary, governs the rights and duties of the respective parties.

Subsequently, in *Kern Corporation Ltd v Walter Reid Trading Pty Ltd*, Deane J said ((1987) 163 CLR 164 at 192): "[I]t is both inaccurate and misleading to speak of the unpaid vendor under an uncompleted contract as a trustee for the purchaser".

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In *Stern*, Gaudron J points out ((1988) 165 CLR 489 at 537), consistently with authority in this [333] Court (*Brown v Heffer* (1967) 116 CLR 344 at 349; *Legione v Hateley* (1983) 152 CLR 406 at 456-457; *Bahr v Nicolay [No 2]* (1988) 164 CLR 604 at 612, 645-646. See also the warning by Stamp LJ in *Berkley v Poulett* [1977] 1 Estates Gazette Law Reports 86 at 93 against error caused by putting "the cart before the horse", to which Austin J referred in *Chief Commissioner of Stamp Duties v Paliflex Pty Ltd* (1999) 47 NSWLR 382 at 390), that the "interest" of the purchaser is commensurate with the availability of specific performance. That availability is the very question in issue where there has been a termination by the vendor for failure to complete as required by the essential stipulation. Reliance upon the "interest" therefore does not assist; it is bedevilled by circularity.

There is the further point subsequently made by Lord Hoffmann in *Union Eagle* concerning the adaptation here of the principles respecting penalty and forfeiture, even allowing the existence of a pre-completion equitable interest in the land. His Lordship distinguished ([1997] AC 514 at 520) the well established (*McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457; *Pitt v Curotta* (1931) 31 SR (NSW) 477) jurisdiction in equity to relieve against forfeiture of part-payments and amounts in excess of a "reasonable deposit", matters not involved in Tanwar's appeal to this Court. He then proceeded ([1997] AC 514 at 520):

> But the right to rescind the contract, though it involves termination of the purchaser's equitable interest, stands upon a rather different footing. Its purpose is, upon breach of an essential term, to restore to the vendor his freedom to deal with his land as he pleases. In a rising market, such a right may be valuable but volatile. Their Lordships think that in such circumstances a vendor should be able to know with reasonable certainty whether he may resell the land or not.

The five "subsidiary questions" stated by Mason and Deane JJ in *Legione* (1983) 152 CLR 406 at 449, and set out above, reflect the treatment by Lord Wilberforce in *Shiloh Spinners Ltd v Harding* [1973] AC 691 (a lease case) of the "appropriate" considerations guiding the exercise of equity's jurisdiction to relieve against forfeiture for breach of covenants added by way of security for the production of a stated result. His Lordship said ([1973] AC 691 at 723-724):

> The word "appropriate" involves consideration of the conduct of the applicant for relief, in particular whether his default was wilful, of the gravity of the breaches, and of the disparity between the value [334] of the property of which forfeiture is claimed as compared with the damage caused by the breach.

However, the end sought to be protected, on the analysis by Mason and Deane JJ in *Legione*, was the interest of the purchaser in the land. That "interest", being for its existence dependent upon the administration of the very remedy in issue, does not suffice. Perhaps aware of the difficulty involved, Mason and Deane JJ went on in *Legione* (1983) 152 CLR 406 at 446, as later did Deane and Dawson JJ in *Stern* (1988) 165 CLR 489 at 522. See also *Hewett v Court* (1983) 149 CLR 639 at 665; *KLDE Pty Ltd v Commissioner of Stamp Duties (Q)* (1984) 155 CLR 288 at 297; *Chan v Cresdon Pty Ltd* (1989) 168 CLR 242 at 253, to say there was much to commend what they said was a competing view of Sir Frederick Jordan. In Ch V of his *Chapters on Equity in New South Wales*, and in the course of dealing with equitable assignments for valuable consideration, and the transfer of the equitable title to the assignee, Sir Frederick Jordan said (6th ed (1947) at 52 (footnote omitted)):

> This result is to be ascribed to the maxim that equity considers that done which ought to be done; and the principle is effective only in so far as the Court of Equity would, in all the circumstances of the case, grant specific performance of the agreement.

He added, somewhat obscurely, in a footnote (6th ed (1947) at 52, fn (e)):

> Specific performance in this sense means not merely specific performance in the primary sense of the enforcing of an executory contract by compelling the execution of an assurance to complete it, but also the protection by injunction or otherwise of *rights acquired under a contract which defines the rights of the parties*. (emphasis added)

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In the New South Wales Court of Appeal (*Chief Commissioner of Stamp Duties v ISPT Pty Ltd* (1998) 45 NSWLR 639 at 654-655), doubt since has been cast upon the support for any such general principle by the authorities cited by Sir Frederick Jordan, beginning with *Tailby v Official Receiver* (1888) 13 App Cas 523 at 547-549. It is sufficient for present purposes to observe that, where the issue, as in Tanwar's appeal, concerns alleged unconscientious reliance by vendors upon their contractual right to terminate, it does not assist to found the equity of the purchaser upon the protection of rights to injunctive relief acquired under a contract the termination of which has taken place. Whilst the contracts here were on foot, breach thereof by the vendors would have been restrained. But there was no relevant breach of contract by the [335] vendors, and the contracts were terminated in exercise of a contractual right to do so.

The present appeal

[25.140] What Lord Wilberforce in *Shiloh Spinners* called "the special heads of fraud, accident, mistake or surprise" ([1973] AC 691 at 723) identify in a broad sense the circumstances making it inequitable for the vendors to rely upon their termination of Tanwar's contracts as an answer to its claim for specific performance. No doubt the decided cases in which the operation of these "special heads" is considered do not disclose exhaustively the circumstances which merit this equitable intervention. But, at least where accident and mistake are not involved, it will be necessary to point to the conduct of the vendor as having in some significant respect caused or contributed to the breach of the essential time stipulation. Tanwar's situation falls beyond that pale. The statement by Mason CJ in *Stern* ((1988) 165 CLR 489 at 502-503) respecting the insignificance of subsequent events for which the vendors were in no way responsible is fatal to the main thrust of Tanwar's case.

It should be made clear that what is said above does not support any proposition that the circumstances must be "exceptional" before equity intervenes. In their joint judgment in *Stern* (1988) 165 CLR 489 at 526, Deane and Dawson JJ, with reference to what had been said by Mason and Deane JJ in *Legione* (1983) 152 CLR 406 at 449, said, in a passage which puts the point of present significance:

> Mason and Deane JJ were not saying that there must be unconscionable conduct of an exceptional kind before a case for relief can be made out. Rather, what was being said was that a court will be reluctant to interfere with the contractual rights of parties who have chosen to make time of the essence of the contract. The circumstances must be such as to make it plain that it is necessary to intervene to avoid injustice or, what is the same thing, to relieve against unconscionable — or, more accurately, unconscientious — conduct.

Thus, it remains for Tanwar to show that it is against conscience for the vendors to set up the termination of the contracts. In the present appeal, as already has been indicated, there was no representation by the vendors which could found any estoppel. Nor has Tanwar asserted that there was any mistake in any relevant sense.

In *Ciavarella* (1983) 153 CLR 438 at 453, the order for remittal made in *Legione* was seen to have been made on the footing that there were already in the evidence indications that the vendors in *Legione* had helped to lull the [336] purchasers into the belief that they would accept completion provided it occurred within a few days. To relieve in those circumstances would be an exercise of the jurisdiction with respect to "surprise". That, as remarked earlier in these reasons, cannot be asserted in the present case.

The second matter which Mason and Deane JJ emphasised in *Legione* was the possibility that a case might be made out in the Supreme Court that the vendors were seeking to reap the benefits of the very valuable improvements to the property which the purchasers had effected whilst in possession under the contract ((1983) 152 CLR 406 at 449; *Ciavarella v Balmer* (1983) 153 CLR 438 at 453). It is not clear from their Honours' remarks whether the reaping of the benefit of the improvements as a consequence of termination of itself would be sufficient to deny insistence by the vendors upon their rescission. It is not readily apparent how that circumstance alone could be sufficient. The contract in

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Legione had permitted the purchasers to enter into possession and any improvements they then made were at risk of the operation of the contractual provisions for termination.

Accident

[25.145] In its extremity, Tanwar then founds upon the jurisdiction to relieve against the consequences of "accident".

In *Legione* (1983) 152 CLR 406 at 444, Mason and Deane JJ referred to authorities disputing the treatment of cases of relief against penalties and forfeitures as instances of relief against accident. The jurisdiction with respect to accident was recognised at a time before the development of any settled body of equitable principles. The point is well made by Professors Keeton and Sheridan (*Equity*, 3rd ed (1987) at 38):

> "Accident" was a vague term which covered many situations, in their nature unforeseen, and it could, in particular situations, shade off into fraud. The law of mistake, particularly in relation to contracts and conveyances, is included under this head, and it led in turn to the development of the equitable rules governing the rectification of contracts and other instruments, and the rescission of documents of all kinds.

What then remains as the subject-matter of accident in modern equity? In *Baird v BCE Holdings Pty Ltd* (1996) 40 NSWLR 374 at 385-386, Young J referred to various writings on the subject which distinguish mistake as supposing an operation of the will of the agent in producing the event, albeit by reason of erroneous impressions on the mind. Spence, writing in 1846, said that the kinds of accidents or cases of extremity which might be relieved against were only to be ascertained from an examination of [337] the cases (*The Equitable Jurisdiction of the Court of Chancery* (1846), vol 1 at 628). He instanced forfeiture and penalties. Other instances include the accidental diminution of assets in the hands of an executor, lost evidence and the defective execution of powers of appointment (*Snell's Equity*, 30th ed (2000) at 603-606), all far from the present case.

However, the learned writers on the subject emphasise and put to one side those situations where the event which has come to pass is one for which an express exculpatory provision might have been made, but was not sought or was not agreed to, and where to relieve against its consequences after it has occurred would deprive the other party to the contract of an essential right (Bispham, *The Principles of Equity*, 6th ed (1903), §§175, 176; Merwin, *The Principles of Equity and Equity Pleading* (1895), §419). In particular, equity will not relieve where "the possibility of the accident may fairly be considered to have been within the contemplation of the contracting parties" (Smith, *Principles of Equity*, 4th ed (1908) at 243-244). Story wrote (*Commentaries on Equity Jurisprudence*, 13th ed (1886), vol 1, §101):

> And this leads us naturally to the consideration of those cases of accident in which no relief will be granted by Courts of Equity. In the first place, in matters of positive contract and obligation created by the party (for it is different in obligations or duties created by law), it is no ground for the interference of equity that the party has been prevented from fulfilling them by accident, or that he has been in no default, or that he has been prevented by accident from deriving the full benefit of the contract on his own side…. The reason is, that he might have provided for such contingencies by his contract if he had so chosen; and the law will presume an intentional general liability where he has made no exception. (footnotes omitted)

It is here that the circumstances leading up to, and the terms of, the 2001 Deeds are of critical importance. The vendors withdrew the earlier notices of termination in return for the assumption by Tanwar of obligations to complete couched in unqualified terms. The obligation in the 2001 Deeds to settle by the stipulated time was not made subject to the availability of Tanwar's finance on that day. That there might be a failure by a third party to provide the finance was reasonably within the contemplation of Tanwar. The failure by Tanwar to avail itself of the advantages it obtained by negotiating the 2001 Deeds and by keeping the contracts on foot had the effect of exposing Tanwar

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again to the exercise by the vendors of their rights to terminate the contracts (cf *Cameron v UBS AG* (2000) 2 VR 108 at 115-116). Equity does not intervene to prevent the effective exercise of those rights. The claim by Tanwar for relief against the [338] consequences of the failure in the timely provision of the second mortgage does not succeed.

[KIRBY and CALLINAN JJ each also agreed that the appeal should be dismissed.]

Appeal dismissed.

[25.150] **Notes**

1. On the position in England, see *Union Eagle Ltd v Golden Achievement Ltd* [1997] 2 WLR 341.
2. The notion that relief against forfeiture can be granted only with respect to proprietary rights (and instalment payments) is increasingly being called into question: see *Mineralogy Pty Ltd v Sino Iron Pty Ltd (No 6)* [2015] FCA 825, [978]–[990] (and on appeal at [2017] FCAFC 55, [421]); *Auburn Shopping Village Pty Ltd v Nelmeer Hoteliers Pty Ltd* [2017] NSWSC 1230, [212]; *JPA Finance Pty Ltd v Gordon Nominees Pty Ltd* [2019] VSCA 159, [82]; *Ayers Rock SkyShip Pty Ltd v Voyages Indigenous Tourism Australia Pty Ltd* [2019] NSWSC 828, [106].

UNCONSCIONABLE TERMINATIONS

[25.155] On the suggestion that courts may have a right to restrain the termination of a contract which would be unconscionable, see *Godfrey Constructions Pty Ltd v Kanangra Park Pty Ltd* (1972) 128 CLR 529. The termination of a contract may, in some circumstances, contravene the statutory prohibition on unconscionable conduct in trade or commerce. See Chapter 38.

GOOD FAITH

[25.160] Some courts have considered that a duty of good faith may qualify the exercise of a right to terminate a contract. See further Chapter 14.

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PART X

CHAPTER ***26***

The measure of damages

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[26.190] *Johnson v Perez* 734

THE RIGHT TO DAMAGES

[26.05] Whenever a party to a contract (the *defendant*) breaches that contract, the other party (the *plaintiff*) will be entitled to an award of damages as monetary compensation for the breach. This chapter considers the principles governing the measure of damages for breach of contract.

THE COMPENSATION PRINCIPLE

[26.10] The guiding principle for an award of damages for the breach of contract is that such damages are compensatory, see further *Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64, extracted at [26.15] and also *Clark v Macourt* [2013] HCA 56; (2013) 253 CLR 1, extracted at [27.155]. As explained by Parke B in *Robinson v Harman* (1848) 1 Ex 850; 154 ER 363, 855 (Ex), 365 (ER), "where a party sustains a loss by reason of a breach of contract, he is, so far as money can do it, to be placed in the same position with respect to damages, as if the contract had been performed". The measures of damages used to give effect to this principle are expectation damages, reliance damages and damages for loss of a chance. *Expectation damages* compensate the plaintiff for the benefit he or she expected to gain from performance of the contract but has lost by reason of the breach. *Reliance damages* may be awarded where a plaintiff cannot establish his or her expectation loss. Damages for the *loss of a chance* are awarded where what the plaintiff expected to gain from performance of the contract was a chance of a benefit.

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[26.15] *Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: On 31 March 1987, the *Commonwealth* and *Amann* entered into a three-year contract under which Amann was to provide coastal surveillance flights for the Commonwealth. On 12 September

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1987, Amann commenced the flights, but at that date it was obvious, as it had been for some time, that Amann did not have all its aircraft ready to perform its contractual obligations nor did any of its aircraft comply in every respect with the specifications in the contract. On 12 September 1987, the Commonwealth purported to terminate the contract. On 15 September 1987, Amann treated the Commonwealth's action as a repudiation of the contract, elected to terminate it and in due course sued for damages for breach of contract. The trial judge, Beaumont J, found for Amann and assessed damages at $410,000. Amann appealed to the Full Court of the Federal Court claiming that it was entitled to substantially higher damages. The Commonwealth cross-appealed. The Full Court held that Amann was entitled to damages amounting to $6,600,207 and dismissed the Commonwealth's cross-appeal. The Commonwealth appealed to the High Court, by which time it accepted that its purported termination of the contract was invalid.]

MASON CJ AND DAWSON J: [74] The only questions which now arise for decision in this court concern the assessment of damages but, as will appear, the questions are such as to require a consideration of the terms of the contract. By way of explanation of this statement, we should point out that the Commonwealth submits that, in the assessment of damages, account must be taken of the likelihood that the Commonwealth would, in any event, have validly exercised its right to terminate the contract for breach some time after 12 September 1987.

The trial judge assessed damages on the basis of lost profits and arrived at an amount very substantially less than that claimed by Amann. Amann contended that it was entitled to damages on a "reliance" basis as it had incurred heavy expenditure in equipping itself to carry out its contractual obligations, this expenditure having been wasted by virtue of the Commonwealth's repudiation of the contract. By 12 September, apart from incurring pre-operational expenditure of $854 943, Amann had arranged for the acquisition and fitting out of aircraft at a cost of $5 281 521. It was common ground between the parties that the resale value of the aircraft was only $917 329, a difference of $4 364 192. This large discrepancy is to be explained both by the fact that the aircraft had been adapted to a special use for which there was a very limited demand and by the cost of transporting them to an available market.

Amann's prospects of making a substantial profit rested on its prospect of securing a renewal of the contract. The cost and value of the aircraft were such that a period of operation significantly longer than three years was needed in order to generate a substantial profit. The prospect of the contractor securing a renewal was strong because it would be fully equipped with the cost of its aircraft written [off]. It would be very difficult for a competitor to match this advantage …

The case for the appellant …

[26.20] [80] The Commonwealth argues that Amann was not entitled to an award of damages calculated on a reliance basis. The award of damages for breach of contract on that basis is only justified, so the argument runs, where the nature of the breach, having regard to the subject matter of the contract, is such as to render proof of the loss caused by the breach impossible. Absent such impossibility, damages should be calculated on the ordinary basis of loss of profits. The Commonwealth then submits that, in any event, an award for reliance damages should not be made where it is established, as here, that the plaintiff would have made a loss on the contract. In this respect, the Commonwealth contends that it was wrong to include in the assessment of damages an estimate of what Amann would have earned if it had obtained a renewal or extension of the contract. There was no commitment by the Commonwealth to renew or extend and, accordingly, Amann was not entitled to compensation on that footing. Furthermore, according to the Commonwealth's argument, to assess damages by reference to the prospect of renewal is inconsistent with the rule, said to be established in *The Mihalis Angelos*, that damages should be assessed on the footing that the defaulting party will not act so as to increase its liability.

The award of damages for breach of contract

The general rule at common law, as stated by Parke B in *Robinson v Harman* (1848) 1 Ex 850; 154 ER 363 at 855 (Ex), 365 (ER), is "that where a party sustains a loss by reason of a breach of contract, he

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is, so far as money can do it, to be placed in the same situation, with respect to damages, as if the contract had been performed" …

The award of damages for breach of contract protects a plaintiff's expectation of receiving the defendant's performance. That expectation arises out of or is created by the contract. Hence, damages for breach of contract are often described as "expectation damages". The onus of proving damages sustained lies on a plaintiff and the amount of damages awarded will be commensurate with the plaintiff's expectation, objectively determined, rather than subjectively ascertained. That is to say, a plaintiff must prove, on the balance of probabilities, that his or her expectation of a certain outcome, as a result of performance of the contract, had a likelihood of attainment rather than being mere expectation.

[81] In the ordinary course of commercial dealings, a party supplying goods or rendering services will enter into a contract with a view to securing a profit, that is to say, that party will expect a certain margin of gain to be achieved in addition to the recouping of any expenses reasonably incurred by it in the discharge of its contractual obligations. It is for this reason that expectation damages are often described as damages for loss of profits. Damages recoverable as lost profits are constituted by the combination of expenses justifiably incurred by a plaintiff in the discharge of contractual obligations and any amount by which gross receipts would have exceeded those expenses. This second amount is the net profit. The expression "damages for loss of profits" should not be understood as carrying with it the implication that no damages are recoverable either in the case of a contract in which no net profit would have been generated or in the case of a contract in which the amount of profit cannot be demonstrated. It would be an invitation to the repudiation of contractual obligations if the law were to deny to an innocent plaintiff the right to recoupment by an award of damages of expenditure justifiably incurred for the purpose of discharging contractual obligations simply on the ground that the contract breached would not have been or could not be shown to have been profitable. If the performance of a contract would have resulted in a plaintiff, while not making a profit, nevertheless recovering costs incurred in the course of performing contractual obligations, then that plaintiff is entitled to recover damages in an amount equal to those costs in accordance with *Robinson v Harman*, as those costs would have been recovered had the contract been fully performed. Similarly, where it is not possible for a plaintiff to demonstrate whether or to what extent the performance of a contract would have resulted in a profit for the plaintiff, it will be open to a plaintiff to seek to recoup expenses incurred, damages in such a case being described as reliance damages or damages for wasted expenditure.

A further example of the application of *Robinson v Harman* which will result in a plaintiff being entitled to claim damages for wasted expenditure is in a contract for services such as that between a solicitor and a client. Where a solicitor has breached his or her contractual duty of care, the measure of damages to which a client will be entitled will be such an amount as would put the client in the position he or she would have been in had the contract of retainer been performed without negligence. In cases where, had non-negligent advice been given, the client would *not* have entered into a subsequent transaction, for example a purchase of real property, then, in conformity with *Robinson v Harman*, the client [82] will be entitled to recover as damages expenditure wasted on account of the negligent advice, less anything subsequently recovered and given reasonable acts of mitigation: *Hayes v Dodd* [1990] 2 All ER 815 at 820 per Staughton LJ. The amount of wasted expenditure will be the appropriate measure of damages in such a situation because, it having been established that the client would not have entered into the subsequent contract if proper advice had been given, it is not sensible to speak of loss of profits. *Hayes v Dodd* is a useful illustration of the statement that the expressions "expectation damages", "damages for loss of profits", "reliance damages" and "damages for wasted expenditure" are simply manifestations of the central principle enunciated in *Robinson v Harman* rather than discrete and truly alternative measures of damages which a party not in breach may elect to claim. The corollary of the principle in *Robinson v Harman* is that a plaintiff is not entitled, by the award of damages upon breach, to be placed in a superior position to that which he or she would have been in had the contract been performed. In *L Albert & Son v Armstrong Rubber Co* (1949) 178 F 2d 182, Learned Hand CJ said (at 189):

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> [O]n those occasions in which the performance would not have covered the promisee's outlay, such a result imposes the risk of the promisee's contract upon the promisor. We cannot agree that the promisor's default in performance should under this guise make him an insurer of the promisee's venture.

Learned Hand CJ went on (at 191) to approve the statement made by Fuller and Perdue in their celebrated article, "The Reliance Interest in Contract Damages" (1936) 46 *Yale Law Journal* 52 at 79: "We will not in a suit for reimbursement for losses incurred in reliance on a contract knowingly put the plaintiff in a better position than he would have occupied had the contract been fully performed." …

[84] [I]f a plaintiff's expenditure would not have been fully recouped had the contract been performed, then full compensation for the wasted expenditure would not be awarded. A plaintiff is only entitled to damages for an amount equivalent to that which would have been earned had the contract been fully performed. In this way, the award of damages assessed by reference to a plaintiff's expenditure is in complete conformity with the principle that an award of damages for breach of contract should place a plaintiff in the same position as if the contract had been performed.

In *Anglia Television Ltd v Reed* [1972] 1 QB 60 Lord Denning MR considered that a plaintiff could claim expenditure thrown away when he has not suffered any loss of profits or if he cannot prove what his profits would have been. His Lordship observed (at 63–4):

> It seems to me that a plaintiff in such a case as this has an election: he can either claim for loss of profits; or for his wasted expenditure. But he must elect between them. He cannot claim both. If he has not suffered any loss of profits — or if he cannot prove what his profits would have been — he can claim in the alternative the expenditure which has been thrown away, that is, wasted, by reason of the breach. That is shown by *Cullinane v British "Rema" Manufacturing Co Ltd* [1954] 1 QB 292 at 303, 308.

[85] Subsequently, in *CCC Films Ltd v Impact Quadrant Films Ltd* [1985] QB 16, Hutchison J said that "a plaintiff may always frame his claim in the alternative way if he chooses": at 32 …

We do not regard the language of *election* or the notion that *alternative* ways are open to a plaintiff in which to frame a claim for relief as appropriate in a discussion of the measure of damages for breach of contract. In truth, as has been seen, damages for loss of profits and damages for expenditure reasonably incurred are simply two manifestations of the general principle enunciated in *Robinson v Harman*. So much at least emerges from the judgment of this court in *TC Industrial Plant Pty Ltd v Robert's Queensland Pty Ltd* (1963) 37 ALJR 289 at 292–4 per Kitto, Windeyer and Owen JJ …

Naturally, the categories of case in which a plaintiff is likely to make a claim for the recovery of expenditure incurred are those in which the plaintiff has not suffered a loss of profits and those in which it is impossible to assess what would have been the outcome had the contract been performed or those in which that outcome is otherwise uncertain … The manner in which a plaintiff frames his or her claim for damages will be dictated not so much by a choice of alternatives giving rise to an election but simply according to whether the contract, if fully performed, would have been and could be shown to have been profitable (even if the actual amount of profit is not readily ascertainable). If this can be demonstrated, a plaintiff's expectation of a profit, objectively made out, will be protected by the award of damages. Otherwise, subject to it being demonstrated that a plaintiff would not even have recovered any or all of his or her reasonable expenses, a plaintiff's objectively determined expectation of recoupment of expenses incurred will be protected by the award of damages. An award of damages for expenditure reasonably incurred under a contract in which no net profit would have been realised, while placing the plaintiff in the position he or she would have been in had the contract been fully performed, also restores the plaintiff to [86] the position he or she would have been in had the contract not been entered into. In this particular situation it will be noted that there is a coincidence, but no more than a coincidence, between the measure of damages recoverable both in contract and in tort.

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It should be observed that, in a case where it is not possible to predict what position a plaintiff would have been in had the contract been fully performed, as was the case in both *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377, and *Anglia Television*, it is not possible as a matter of strict logic to assess damages in accordance with the principle in *Robinson v Harman*. But the law considers the just result in such a case is to allow a plaintiff to recover such expenditure as is reasonably incurred in reliance on the defendant's promise. In this case, the law *assumes* that a plaintiff would at least have recovered his or her expenditure had the contract been fully performed. It will still be open to a defendant, however, to argue that, notwithstanding the fact that it is impossible to assess what profits, if any, the plaintiff would have made had the contract been fully performed, the expenditure claimed by a plaintiff would nevertheless not have been recovered even if, to use the examples of *McRae* and *Anglia Television*, the tanker had existed or the defendant actor, Oliver Reed, had participated in the production of the film. In essence, such an argument is to the effect that, far from being impossible to predict what the result of the contract would have been, if fully performed, it is possible to demonstrate that performance of the contract would not even have resulted in the recovery by the plaintiff of reasonable expenses incurred.

Onus of proof

[26.25] Why the law appears to assume that a plaintiff would at least have recovered reasonable expenses incurred in the case both of contracts not resulting in a net profit and of contracts in which a plaintiff maintains that it is not possible to determine what position the plaintiff would have been in had the contract been fully performed, and why the law puts the burden of displacing this assumption on a defendant are questions to which we now turn.

In other jurisdictions there is strong authority to the effect that, where a plaintiff claims damages for expenditure reasonably incurred, it is prima facie sufficient for that plaintiff to prove his or her expenditure and that it was reasonably incurred. The onus then shifts to the party in breach of contract to establish that such expenditure would not have been recouped even if the contract had been fully performed. If this onus is not discharged, a plaintiff's entitlement to reliance damages remains intact. In *L Albert & Son [87] v Armstrong Rubber Co*, Learned Hand CJ, after noting that the basis for the award of damages was not predicated on the notion that a defaulting promisor was an insurer for a promisee's venture, went on to observe (at 189):

> [I]t does not follow that the breach should not throw upon [the defaulting party] the duty of showing that the value of the performance would in fact have been less than the promisee's outlay. It is often very hard to learn what the value of the performance would have been; and it is a common expedient, and a just one, in such situations to put the peril of the answer upon that party who by his wrong has made the issue relevant to the rights of the other. On principle therefore the proper solution would seem to be that the promisee may recover his outlay in preparation for the performance, subject to the privilege of the promisor to reduce it by as much as he can show that the promisee would have lost, if the contract had been performed …

The placing of the onus of proof on a defendant in the manner described amounts to the erection of a presumption that a party would not enter into a contract in which its costs were not recoverable … [S]uch a presumption is not irrebuttable but, until that presumption is rebutted, a plaintiff may rely on it to recover his or her reasonable expenses both in the case of a contract which would not have been profitable and in the case of a contract where the outcome of the [88] contract, if it had been fully performed, cannot be demonstrated, whether at all or with any certainty. This last type of contract, of which *McRae* and *Anglia Television* have been cited as examples, is to be distinguished from a purely aleatory contract where, almost by definition, it would not be appropriate to apply the presumption we have described for the reason that inherent in the entry into such a contract is the contingency that not even the slightest expenditure will be recovered, let alone the securing of any net profit. In the case of aleatory contracts, damages are awarded for loss of a chance and the burden of establishing the existence and loss of this chance as a result of the defendant's breach lies on a

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plaintiff although, as has already been observed, mere difficulty of estimation does not relieve a court or jury, in appropriate cases, of the task and responsibility of placing a value on the chance lost …

In the context of the discussion of onus of proof and the presumption relating to recovery of reasonable expenditure incurred which we have described, it is necessary to consider the decision of this court in *McRae*. There, the plaintiffs recovered as damages the amount of the agreed purchase price together with the expenditure wasted in reliance on the promise that there was an oil tanker at the locality given, there being no oil tanker anywhere in that locality. The expenditure wasted was incurred by the plaintiffs in taking steps to see whether there was a tanker in the locality given and, if so, whether any and what things should be done to turn her to account. Dixon and Fullagar JJ (with whose conclusions McTiernan J agreed) considered that the steps taken by the plaintiffs were not unreasonable and that they were such as the defendant would naturally expect them to take. Their Honours concluded (at 413) that the case fell within the second rule in *Hadley v Baxendale* (1854) 9 Ex 341; 156 ER 145. The plaintiffs were therefore entitled to recover damages "measured by reference to expenditure incurred and wasted in reliance on the Commission's promise that a tanker existed at the place specified": at 415.

[89] Their Honours pointed out (at 414) that the plaintiffs had a prima facie case for recovery of wasted expenditure because (1) the expense was incurred; (2) it was incurred in reliance on the promise that there was a tanker; and (3) the fact that there was no tanker meant that the expense was wasted. This threw the burden on the defendant "of establishing that, if there had been a tanker, the expense incurred would equally have been wasted." But it was impossible to assess damages on the basis of a comparison between what was promised and what was delivered, "not because what was promised was valueless but because it is impossible to value a non-existent thing": at 414.

Accordingly, *McRae* illustrates the proposition that a plaintiff has a prima facie case for recovery of wasted expenditure once it is established that the expense was incurred in reliance on the promise of the party in breach, there being a failure of performance by that party. By reason of its facts, the reasoning in *McRae* does not depend upon the presumption that an innocent party would not have entered into the contract unless it would at least have recovered its reliance expenditure under the contract had it been performed. But the reasoning is not inconsistent with the application, in appropriate cases, of that presumption which, in our view, has much to commend it. Indeed, it is just and fair that the repudiating party should bear the onus of showing that the party not in breach would have made a loss on the contract.

The present case differs from *McRae* in that it was not impossible, as a matter of theory, for Amann to establish what its profits (if any) would have been had the Commonwealth not repudiated the contract. Indeed, the trial judge's assessment of damages proceeded on that footing although, significantly, he did not take into account the value to Amann of the prospects of renewal of the contract. But the difficulties attending that undertaking were legion … Not the least of those difficulties were the problems of assessing what were the prospects of early termination of the contract by the Commonwealth had the contract proceeded and, more importantly, the prospects of Amann securing a renewal of the contract. Add to those uncertainties the fact that, on any view, the most substantial part of Amann's damages flowing from the Commonwealth's breach of the original contract was represented by the wasted expenditure.

In this respect it is significant that the contract was of such a kind that the parties clearly contemplated that the contractor would be [90] in an advantageous and preferred position to secure a renewal of the contract had it run its expected course. In that event Amann would, subject to any variations in the Commonwealth's requirements, have had the necessary equipment (written down in value), facilities and personnel in place at the relevant time. The prospect of renewal was an important commercial benefit which would then have accrued to the contractor. Amann was looking to that commercial benefit as well as revenue receipts arising under the original contract as the reward which it would obtain under that contract. In other words, it was a contract which enabled the contractor to recoup part, if not all, of its expenditure during the currency of the original contract and placed the contractor in a favourable position to secure a renewal of the contract and earn substantial

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profits under any renewed contract. On this score alone it was a case in which, it being natural and appropriate for Amann to sue to recover its wasted expenditure by way of reliance damages, the onus rested on the Commonwealth of establishing that the reliance expenditure would have been wasted even if the contract had been performed.

The prospect of renewal of the contract and discharge of the onus

[26.30] In seeking to discharge this onus, the Commonwealth submits that it is irrelevant, when considering the position Amann would have been in had the contract been fully performed, to have regard to the value of Amann's prospects of renewal of the contract. This is because, so the argument runs, the Commonwealth was under no legal obligation to renew the contract. According to the argument, a defendant is not liable for that which he or she has not promised to do; a plaintiff is not entitled to recover compensation for the non-realisation of his or her expectation that the defendant would provide him or her with a benefit when the defendant has not assumed a legal obligation to do so. A variation of this argument is that to take into account loss arising from deprivation of the prospects of renewal is to take into account a loss arising from non-performance of an act which the Commonwealth was under no legal obligation to perform. Damages for the loss of a chance or an opportunity to secure a benefit may be awarded but, argues the Commonwealth, only in those cases in which there is a legal obligation to provide a chance or an opportunity of obtaining that benefit. *Chaplin v Hicks* [1911] 2 KB 786 is the classic illustration of just such a case …

[91] [A] defendant is not liable in damages for not doing that which he or she has not promised to do: *Abrahams v Herbert Reiach Ltd* [1922] 1 KB 477 at 482 per Scrutton LJ; *Lavarack v Woods of Colchester Ltd* [1967] 1 QB 278 …

However, the rule that the defendant is not liable in damages for not doing that which he or she has not promised to do is necessarily subject to the rule in *Hadley v Baxendale*. According to Alderson B's renowned formulation, the plaintiff is entitled to recover such damages as arise naturally, that is, according to the usual course of things, from the breach, or such as may reasonably be supposed to have been in the contemplation of both parties at [92] the time they made the contract as the probable result of the breach: at 354; 151. It is now accepted that this is the statement of a single principle and that its application may depend on the degree of relevant knowledge possessed by the defendant in the particular case …

However, in the present case, the application of the rule in *Hadley v Baxendale* turns not on the degree of knowledge possessed by the defendant but on what may reasonably be supposed to have been in the contemplation of the parties as the probable result of the breach. If it be right to suppose that the loss of the prospect of securing a renewal of the contract was within the contemplation of the parties as a probable result of the breach, then, notwithstanding the principle established by *Abrahams* and *Lavarack*, Amann is entitled to compensation which takes into account the value of the loss of the prospect of securing a renewal of the contract.

What was in the contemplation of the parties depends upon a consideration of the terms of the contract in the light of the matrix of circumstances in which it was made. As we have seen, performance of the contract by Amann would have placed it in an advantageous position to secure a renewal of the contract with the benefits that would entail. The prospect of renewal was a distinct commercial benefit, inevitably contemplated by the parties as enuring to the advantage of Amann on, and by reason of, its performance of the contract. It was not an advantage which would accrue to Amann independently of performance of the contract or incidentally. The corollary is that the parties necessarily contemplated the loss of that prospect as the probable result of a repudiation or fundamental breach of the contract on the part of the Commonwealth.

The Commonwealth also submits that the Full Court of the Federal Court was wrong in taking into account the prospect of renewal of the contract because to do so infringed the rule that, where there are two or more ways in which a defendant might perform the contract, the court, in assessing damages, adopts the mode of performance which is most beneficial to the defendant. That rule,

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which is a manifestation of the principle that damages [93] will not be awarded for not doing that which there is no legal obligation to do, is well supported by authority …

If we make the assumption that the contract would have proceeded to completion, which is a necessary assumption for present purposes, it would be wrong, in the circumstances of the case, to conclude that the Commonwealth would have refused to renew the contract simply because that outcome would reduce the [94] Commonwealth's liability in damages to Amann in the light of the events as they have actually fallen out. In assessing damages, the court is necessarily engaged in a hypothetical exercise, that is, ascertaining how the contract would have turned out had it not been brought to an end by Amann's acceptance of the Commonwealth's wrongful repudiation. On the assumption that the contract would have proceeded to completion, it would have been to the Commonwealth's advantage to have agreed to a renewal, rather than to have negotiated a fresh contract with a third party who would have been in the position of starting from scratch and thus have sought and insisted upon large financial rewards in order to compensate for heavy initial expenditure of the kind incurred by Amann. Accordingly, there would have been a strong prospect of renewal. This being so, the value of the prospect of a renewal of the contract was a matter to be taken into account in determining whether Amann would or would not have recouped its expenditure … [W]here the value of the legal obligation to the plaintiff depends upon the occurrence of an event extraneous to the contract, the probability of the occurrence is relevant to the estimate. As we have said, there was a strong prospect of such an occurrence in this case … The consequence of this, … in view of the onus cast upon the Commonwealth as the party in breach, is that the Commonwealth must demonstrate that the value to Amann of the prospect of renewal of the contract when combined with those expenses that would have been recovered by way of gross receipts was less than the total expenses to be incurred by Amann in the performance of its contractual obligations. If the Commonwealth was able to demonstrate that this would have been the result, had the contract been fully performed, then, in conformity with *Robinson v Harman*, Amann would not be entitled to all of its expenditure incurred in reliance on the Commonwealth's promise to perform and wasted as a result of the Commonwealth's breach. The Commonwealth was unable, however, to demonstrate this and so discharge the onus. Accordingly, the presumption that Amann would not have entered into a contract in which it would not recover the value of its expenditure incurred remains undisturbed. We agree with the Full Court's conclusion that Amann was entitled to recover as damages an [95] amount commensurate with what it had expended in reliance upon the Commonwealth's promise to perform its contractual obligations.

Discount in the quantum of damages by reference to the prospect of termination of the contract pursuant to cl 2.24 …

[26.35] The Commonwealth argues that the amount of damages awarded should have been discounted in accordance with the prospect of valid termination by the Commonwealth and that, in assessing this prospect, it should be presumed that the Commonwealth would have acted so as to minimise its liability in conformity with *The Mihalis Angelos* [1971] 1 QB 164. The Commonwealth argues that both Davies J and Burchett J erred in failing to discount the damages they assessed.

Clause 2.24 provides:

> 2.24 TERMINATION
>
> Whenever … the Contractor fails to carry out the Contract or comply with a condition of the Contract to the satisfaction of the Secretary then … the Secretary may, by notice in writing, require the Contractor to show cause in writing to the satisfaction of the Secretary, why the Contract or any specified portion thereof should not be cancelled. If the Contractor fails to show cause in writing, as so required, the Secretary shall be entitled to treat the Contract or any specified portion thereof as having been cancelled …

[Their Honours then set out the arguments of the parties and continued:] [97] Beaumont J resolved these competing arguments by holding that there was a 50 per cent possibility of cancellation pursuant

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to cl 2.24. But, in arriving at this conclusion, his Honour proceeded on the footing that the Secretary in exercising the power of cancellation was free to pursue the interests of the Commonwealth without any relevant qualification. The Full Court did not agree with that interpretation of the clause. The Full Court's more restricted view of the Secretary's power of cancellation led, quite naturally, to that court assessing the possibility of cancellation at 20 per cent.

We are not persuaded that this was an erroneous estimate …

Consequently, we are not persuaded that the Full Court was wrong in either its estimate or its conclusion that the amount of damages to be awarded should [98] not be discounted on account of an event which was unlikely to occur. It goes, virtually without saying, that we reject entirely the Commonwealth's contention that no damages should have been awarded on the ground that termination was probable.

Conclusion

Having dealt with the arguments of principle advanced by the Commonwealth in conformity with its grounds of appeal, there being no challenge, independently of those grounds of appeal, to the calculation of damages made by the Full Court of the Federal Court, we would dismiss the appeal.

BRENNAN J:

The measure of damages for breach of contract …

[26.40] [99] A plaintiff (as I shall call the party not in breach) seeking damages from a defendant (as I shall call the party in breach) bears the onus of proving both the loss sustained by reason of the breach and the damages for the loss … If a contract be profitable and is rescinded for breach, the profits lost and the costs actually and reasonably incurred in performance are proper subjects of compensation. If a contract be a loss contract, the costs actually and reasonably incurred in performance are the subject of compensation, but only to the extent that those losses would have been recovered had the contract been performed …

[100] In this case, the principal item of loss which the respondent (Amann) is seeking to recover is the net amount expended by it in preparing to perform the contract … forgoing any profits which it submits it would have earned but which it is unable to quantify. The amount so expended (net of its remainder value) was wasted by the repudiation of the contract by the appellant (the Commonwealth). It is a loss that falls comfortably within the rule in *Hadley v Baxendale*. The question is: what is the measure of damages for that loss?

The Commonwealth contends that there were no profits to be made; to the contrary, it contends that there was a demonstrable loss to be expected from performance of the contract. The resolution of this controversy depends … on the value to be attributed to the benefits to which Amann would have been entitled under the contract had the contract been performed … If the value of those benefits ($B) less [101] the amount which Amann would have had to expend but is now dispensed from expending in performance of any of its unperformed obligations under the contract ($y) exceeds the expenditure incurred by Amann in preparing to perform the contract ($x), Amann is entitled to recover $x; if the net benefit ($B $y) is less than the expenditure incurred ($x), Amann is entitled to recover no more than the net benefit, for that is all that it would have recouped had the contract been performed. The measure of Amann's damages thus depends on the value of the benefits which Amann would have been entitled to receive had the contract been performed ($B), $x and $y being agreed amounts. If $B cannot be quantified, the problem is this: does Amann fail because it has not proved that $B $y is sufficient to cover the $x it expended, or does the Commonwealth fail because it has not proved that $B $y is insufficient to cover the $x or has not proved the amount of the insufficiency?

A plaintiff's contractual benefits: $B

[26.45] Where a contract rescinded for breach is conditional or contingent, the benefits to which a plaintiff would have been entitled had the contract been performed are affected by the possibility that performance of the contract might have been dispensed with or abbreviated by non-fulfilment

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of the condition or the occurrence of the contingency. To apply the hypothesis that "the contract had been performed" in such a case, it is necessary to find whether the condition would have been fulfilled or whether the contingency would have occurred or, if the fact cannot be found, to make some estimate of the possibility of non-fulfilment of the condition or the occurrence of the contingency. Where damages are assessed after the time for fulfilling the condition or for the occurrence of the contingency has arrived (if there be a stipulated time), the court may be able to determine with some precision the benefits to which the plaintiff would have been entitled had the contract been performed. But, if no time be stipulated or if damages be assessed before the stipulated time has arrived, some estimate must be made as to the possibility of non-fulfilment of the condition or of the occurrence of the contingency. The estimate must be taken into account in assessing a plaintiff's damages. In this case, the manner in which account is to be taken of the possibility of early termination of the contract will have to be considered. It must always be assumed in assessing a plaintiff's damages that the defendant would have committed no further breach of the contract. [102] (That assumption eliminates the need to consider the possibility that further breaches might have been committed by the defendant and the countervailing possibility that compensatory damages for those breaches would have been recovered by the plaintiff.)

In evaluating a plaintiff's benefits under a contract, the court does not look solely at the express terms of the contract but evaluates the plaintiff's rights to benefits of any kind, whether those benefits are expressed by the terms of the contract or are ascertainable by reference to circumstances extrinsic to those terms. Thus a hairdresser's assistant who was wrongfully dismissed was held entitled to recover not only damages for lost wages but also a sum representing the tips which he would have received (*Manubens v Leon* [1919] 1 KB 208), and an artist's opportunity of gaining fame and reputation by performing a theatrical engagement must be evaluated in assessing damages when the engagement is wrongfully terminated: *Herbert Clayton and Jack Waller Ltd v Oliver* [1930] AC 209. In cases of this kind, the contract is found to contain by implication a promise to give the plaintiff an opportunity to acquire the unexpressed benefit (*White v Australian and New Zealand Theatres Ltd* (1943) 67 CLR 266 at 271, 273, 281; *Withers v General Theatre Corp* [1933] 2 KB 536 at 554), and damages are awarded for breach of that promise. They are not awarded in respect of benefits which the plaintiff has no contractual right to receive: *Abrahams v Herbert Reiach Ltd* [1922] 1 KB 477 at 482.

Unexpressed benefits are frequently of an intangible kind or are otherwise of uncertain value but difficulty in evaluating a contractual benefit is no barrier to recovery of damages where the defendant is bound to provide the benefit but has failed to do so: see *Chaplin v Hicks* …

When a commercial contract is breached, it would be erroneous to evaluate the benefits which a plaintiff would have been entitled to receive had the contract been performed by reference solely to the stipulated remuneration for performance if the plaintiff is entitled [103] to acquire, by performance of the contract, other commercial advantages. The hairdresser's assistant in *Manubens v Leon* was contractually entitled to be employed and it would not have been full compensation for his loss of employment to give him his wages without giving him his tips. An evaluation limited to benefits expressly stipulated would not truly reflect the situation in which the plaintiff would have been if the contract had been performed, nor would it lead to an award of damages which would place the plaintiff in that situation. The other commercial advantages must be evaluated, and evaluation may require consideration of the nature of the plaintiff's business, the opportunities available to the plaintiff to exploit the advantage and, if there be a market for a particular advantage, that market.

Among the commercial advantages to which a plaintiff might be entitled as of right by performing a contract is an opportunity to obtain a profitable engagement under another contract, an opportunity not amounting to a right to a further engagement. Thus, in *TC Industrial Plant*, where the plaintiff sought damages for breach of warranty of fitness of a stone crushing machine and the plaintiff's principal loss consisted in the cancellation of a contract with the Commonwealth for the supply of crushed aggregate to be produced by using the crusher, the plaintiff was held entitled to recover the profit which would have been earned under a probable extension of the supply contract had the plaintiff been able to perform the original supply contract …

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In *TC Industrial Plant*, the second contract was almost certain to follow on successful performance of the first contract, but the underlying principle does not depend on the certainty of securing a second contract. Certainty is relevant to the value of the opportunity of obtaining a profitable engagement under a second contract, but the benefits to which a plaintiff is entitled under a contract may include an uncertain prospect of obtaining such an [104] engagement provided the prospect is sufficiently substantial to stamp it as a real commercial advantage. The relevant principle is that when performance of a contract by a defendant (including the permitting of the plaintiff to perform his obligations under the contract) would have resulted in the plaintiff's acquiring a particular commercial advantage but the advantage is lost by reason of the defendant's breach, the loss of the advantage is compensable and its value is to be taken into account in assessing a plaintiff's damages. If the advantage in question is a certain opportunity to secure a profitable second contract, the profits of the second contract can be recovered. Such an advantage is worth more than a merely preferential chance of securing such a contract but such a chance, like the chance in *Chaplin v Hicks*, has a value and the loss of the chance is a proper subject of compensatory damages.

However, to attribute a value to such a chance the court might have to engage in a degree of speculation, speculating as to the likelihood that a profitable contract would be available, what the likely profits would be and the likelihood that the plaintiff would secure the contract against competition by others. The value of the plaintiff's lost contractual benefits are then shrouded in uncertainty. In that event, who bears the onus of proving that the net value of the benefits ($B $y) are or are not sufficient to cover the expenditure incurred by the plaintiff prior to the breach of the first contract or, when the contract is rescinded for breach, prior to rescission?

The doctrine of reliance damages: an alternative method of assessment

[26.50] Where a contract has been rescinded for breach, the amount which a plaintiff has reasonably expended in reliance on the defendant's promise and which is wasted by reason of the defendant's breach of his promise is a proper subject of damages for breach of contract: *McRae v Commonwealth Disposals Commission* at 412, 414. Damages assessed for wasted expenditure incurred in reliance on the defendant's promise may be described as reliance damages to distinguish them from damages assessed for loss of the benefits which the plaintiff expected from performance of the contract (expectation damages). A plaintiff who seeks to recover reliance damages must ordinarily prove that the net value of the benefits to which he would have been entitled if the contract had been performed ($B $y) would have exceeded the wasted expenditure incurred in reliance on the defendant's promise ($x) [105] and, to the extent that he fails to do so, his claim will fail. To discharge the onus of proof, however, the plaintiff may be able to raise and rely on an inference that a party would not incur expenditure in reliance on the other party's promise without a reasonable expectation that, on performance of the contract, the expenditure would be recouped. That is an inference of varying strength according to the circumstances …

However, when a contract is rescinded for breach and that breach, by preventing the performance of the contract, has made it impossible for the plaintiff to prove that the net value of his contractual benefits ($B $y) exceeds the wasted expenditure incurred in reliance on the defendant's promise prior to rescission ($x), it is just to shift to the defendant the ultimate onus of proving that, had the contract been performed, the net value of the plaintiff's benefits would not have covered the expenditure he had incurred before rescission …

[106] The sufficient and necessary justification for shifting the onus to the party in breach in the assessment of damages for wasted expenditure incurred in reliance on the defendant's promise before rescission for breach is that the breach of the contract itself makes it impossible to undertake an assessment on the ordinary basis …

A plaintiff's inability to quantify his lost benefits is no justification by itself for casting on the defendant an onus to prove that the plaintiff would not have recouped reliance damages had the contract been performed. What justifies the reversal of the onus is the defendant's repudiation or

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breach which denies, prevents or precludes the existence of circumstances which would have [107] determined the value of the plaintiff's contractual benefits. Thus, in *McRae's* case …

The point of distinction between the method of assessment of expectation damages and the method of assessment of reliance damages is the reversal in the case of reliance damages of the onus of proof of the net value of the plaintiff's contractual benefits. There can be no duplication of reliance damages and expectation damages. The compensable losses in reliance damages do not include possible lost profits but both cover expenditure reasonably incurred in preparing to perform and in performing the contract within the limits prescribed by *Robinson v Harman*. The measure of damages prescribed by *Robinson v Harman* governs each method of assessment.

Where justification for reversing the onus exists, reliance [108] damages may be recovered; absent that justification, the plaintiff must recover expectation damages, if any, by proof of the value of benefits and the cost of performance; that is, by proof that $B $y is greater than $x. These are alternative methods of assessing damages, but the plaintiff does not have an election as to the method. The plaintiff who seeks recovery of reliance damages must show that justification for reversing the onus of proof exists. Otherwise, he must endeavour to prove his damages on the ordinary basis …

Of course, when a plaintiff advances a prima facie case for an assessment of reliance damages, the defendant may destroy or diminish the plaintiff's claim by proving that, had the contract been performed, the plaintiff's benefits after payment of the further costs of performance ($B $y) would not have been sufficient to cover the expenses reasonably incurred by the plaintiff prior to rescission in reliance on the contract …

The present case

[26.55] The breach consisted in the Commonwealth's unjustified repudiation of the contract on 12 September 1987. At 12 September 1987, Amann had committed itself … to expend $5 281 521 in the purchase of … aircraft which had a remainder value of only $917 329 when no longer required for coastal surveillance, and it had incurred other preliminary costs of $854 943. The Full Court of the Federal Court based its assessment of damages on the net expenditure thus incurred ($5 219 135) together with $143 049 paid to employees whose services were terminated consequent on the rescission of the contract and $113 000 paid to the Commonwealth under a clause of the contract requiring a deposit to secure due performance … Accordingly, that court awarded $5 475 184 damages plus interest. Amann looked to the contract to recoup the costs it had incurred.

[I]f the value of Amann's benefits had the contract been performed (net of the further costs of performance) [had] fallen short of $5 219 135, Amann must fail to the extent of the shortfall.

The total … to which Amann would have been entitled under the contract had it been fully performed was $17 107 462 together with a refund of the security deposit ($113 000) but, in order to perform the contract fully, Amann would have had to expend a further $15 801 899 to defray further capital expenditure, operating costs and borrowing costs … The Commonwealth submits that, had the contract been fully performed, no more would have been available to Amann to cover the costs it had incurred on 12 September 1987 than the surplus of the total payable under the contract over the further expenditure Amann would have had to incur to perform the contract fully. The Commonwealth submits that Amann's damages could not exceed the amount of that surplus ($1 418 563) [$17 107 462 ($15 801 899 + $113 000)] supplemented by the $143 049 termination pay which Amann would not have paid if the contract had proceeded. On this argument, and on the hypothesis that the contract had been fully performed, Amann's damages could not exceed $1 561 612 [$1 418 563 + $143 049].

I see no answer to this submission if the premise on which it is based is accepted; that is, that the only benefit of value to which Amann was entitled by performing the contract consisted in the amounts payable to it by the Commonwealth under the contract. If that be the true position, Amann would have made a loss even if the contracts had been fully performed …

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For its part, Amann submits that by performing the contract it would have acquired a substantial commercial advantage in tendering for the next coastal surveillance contract and that advantage enhances the value of the first contract either directly, by adding the value of the commercial advantage to the stipulated remuneration and thus increasing the total benefits to which it would have been entitled under the contract, or indirectly, by enhancing the value of the aircraft used in coastal surveillance at the end of the first contract period and thus reducing the costs attributable to performance of the first contract.

(i) Was Amann contractually entitled to more than remuneration?

… [111] The commercial position was such that any successful tenderer who performed the contract for the stipulated period (three years) would be in a strong, if not unassailable, position to become the successful tenderer for a surveillance contract for the following period … The Commonwealth's promise to engage Amann to provide the service for three years carried with it the promise that Amann, by performing the contract, could work itself into a secure position as an equipped and established provider of the service and [112] could thereby acquire a most substantial advantage in tendering for any succeeding contract. This was not an incidental benefit flowing merely from a trader's reputation as a successful contractor; it was a benefit which was implicit in Amann's right to perform the particular contract, having regard to the nature of the work, the capital and equipment required to perform it, the Commonwealth's practice of letting tenders for the work and the limited competition among tenderers to do it. By repudiating the contract, the Commonwealth caused Amann to lose the commercial advantage it would have gained had the contract been performed. The loss of that advantage is compensable. The case is in this respect indistinguishable in principle from *TC Industrial Plant, Manubens v Leon* and *Herbert Clayton and Jack Waller Ltd v Oliver*. The commercial advantage which Amann lost is not to be mistaken for a right to renewal of its contract. Had there been a right to renewal, the loss of that right would have to be taken into account … But the Commonwealth cannot be held liable for the loss of a benefit which it had not expressly or impliedly promised Amann. It had not promised renewal; it had promised that Amann should be the provider of the service for three years. It is the commercial advantage inherent in being the provider of the service for three years that is the benefit to be valued.

(ii) What was the commercial advantage worth to Amann?

The period and conditions offered by the Commonwealth to tenderers for any subsequent contract, the possibility of renewed competition, the risk of damage to aircraft during the currency of the first contract, the vicissitudes of industrial relations, not to mention the possibility of radical changes in government policy, are among the factors which make an attempt to ascertain the value of the advantage by reference to circumstances which exclude three years of contract performance a speculative exercise. That is not to say that the advantage was valueless in 1987. To the contrary, the value of the advantage would have been substantial, but it cannot be quantified with any degree of accuracy. It follows that it is impossible to say whether or not the value of all the benefits to which Amann would have been entitled had the contract been performed ($B) would have exceeded the cost of performance by Amann ($x + $y). Nor is it possible to say whether there would have been a sufficient net value of the benefits to which Amann would have been entitled (that is, $B $y) to cover any more than [113] $1 561 612 of the expenditure which Amann had already incurred ($x).

The value of the commercial advantage that Amann would have acquired and could have exploited when the contract had been performed could be ascertained only at or near the end of the contract period and only in the light of the history of Amann's performance of the contract. The course of events by reference to which the value of that commercial advantage could be determined was aborted by the Commonwealth's repudiation of the contract. Of course, even if the contract had been performed, the value would have had to be assessed as a prospect of securing a profitable contract, not as a right to secure such a contract. Some estimate of that prospect would have had to be formed. Any uncertainty in the value of the advantage arising from the need to form such an estimate is not attributable to the Commonwealth's repudiation, but the repudiation did preclude the occurrence of

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the events which would have permitted in due time a true assessment of the value of the commercial advantage lost by reason of the repudiation. Amann is therefore entitled to an assessment of its damages as reliance damages and to cast upon the Commonwealth the onus of showing that, had the contract been performed, Amann would not have been entitled to benefits of sufficient net value to cover any part of the expenditure it had incurred prior to rescission or, alternatively, any part of that expenditure exceeding $1 561 612.

(iii) Would the power conferred by cl 2.24 have been exercised to terminate the contract?

… [114] In my view, the Commonwealth has failed to discharge that onus of showing that the Secretary would have terminated Amann's contract under cl 2.24. If the Commonwealth cannot establish that that contingency would have occurred, it cannot discharge the onus of proving that the net benefits to which Amann would have been entitled under the contract would not have covered the expenditure it had incurred in reliance on the contract prior to rescission.

Had Amann borne the onus of proving its damages as expectation damages, the assessment would have had to allow for the possibility that the power to terminate under cl 2.24 would have been exercised. That possibility, assessed at 20 per cent by the Full Court, would have reduced those damages. In the assessment of reliance damages, the possibility remains relevant to the value of Amann's contractual benefits. But the Commonwealth bears the [115] onus of proving that the possibility of termination under cl 2.24 reduces the net value of Amann's benefits to an amount less than its expectation damages. Had the contract not been repudiated, the circumstances would have revealed whether or not the contract would have been terminated under cl 2.24. The repudiation leaves that possibility uncertain and the Commonwealth must bear the consequences. Even if the Commonwealth be held to have proved that there was a 20 per cent possibility that the contract would have been terminated under cl 2.24, that finding does not enable the Commonwealth to discharge its onus. The Commonwealth remains unable to prove either that $B $y is less than $x or that 80 per cent of ($B $y) is less than $x.

(iv) Has the Commonwealth proved that Amann's net benefits would not have covered its expenditure?

The Commonwealth's principal argument was that it is impermissible to include in Amann's damages any allowance for benefits to be obtained under a second contract, for a loss of those benefits would flow not from repudiation of the first contract but from a decision not to enter into the second contract. However, Amann's situation is not to be assessed by attempting to quantify benefits under a second contract: it is right to say that the first contract confers no right to those benefits. But, for the reasons already given, the first contract did confer a right to acquire, by performance of the contract, a commercial advantage in tendering for a second contract and that advantage must be evaluated. The value of that advantage does reflect some expectation of profits to be earned under a second contract, and such an expectation, which would have value in the eyes of those engaged in the business of providing a surveillance service, is relevant to the evaluation of the tendering advantage to which Amann was contractually entitled. At all events, the Commonwealth has not shown that the advantage was valueless or was of insufficient value when added to the contractual remuneration to provide sufficient net benefits to cover the expenditure incurred by Amann prior to rescission. As the Commonwealth has failed to discharge its onus of proof, Amann is entitled to recover the expenditure incurred prior to rescission in preparing to perform and in performing the contract. That expenditure is the amount found by the Federal Court.

The appeal should be dismissed.

DEANE J:

Reliance damages

[26.60] … [126] In a case where a plaintiff has incurred expenditure either in procuring the contract or in its performance but it is impossible or difficult to establish the value of any benefits which the plaintiff would have derived from performance by the defendant, considerations of justice dictate

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that the plaintiff may rely on a presumption that the value of those benefits would have been at least equal to the total detriment which has been or would have been sustained by the plaintiff in doing whatever was reasonably necessary to procure and perform the contract. In my view, the rational basis of that presumption is that that total detriment represents what would reasonably have been in the contemplation of the parties themselves as the cost to the plaintiff of full performance by the defendant and constitutes some evidence, in proceedings between them, of the value of the total benefits which would have been derived by the plaintiff from such performance. It follows from it that, at least in a case where proof of value is impossible or difficult, it is presumed in the plaintiff's favour that the future net benefits (that is, excess of future benefit over future detriment) which would have been derived from performance of the contract would have been of a value sufficient to recoup the past net expenditure reasonably incurred in procuring or performing it. Where that presumption is operative, it enables the recovery by [127] a plaintiff of what are commonly referred to as "reliance damages", that is to say, damages equivalent to the wasted expenditure which has been reasonably incurred in reliance upon the assumption that the contractual promises of the defendant would be honoured. The presumption will be rebutted if it be self-evident or established that the plaintiff would have derived no financial or other benefit from performance of the contract or that any financial or other benefit which would have been derived from future performance would not have been sufficient in value to counterbalance the past expenditure. The presumption will not, however, be displaced merely by the circumstance that the benefits which the plaintiff would have obtained from performance by the defendant included the chance of some more remote benefit and it is a matter of speculation whether that ultimate benefit would have in fact been obtained or by the circumstance that the perceived "benefit" which the plaintiff sought and for which she incurred the past expenditure is something which is of value only to the plaintiff or which, for some other reason, is not capable of being objectively valued in monetary terms: see, for example, *McRae* at 414; *Fink v Fink* at 134–5, 143. If it be established that the plaintiff would not, in any event, have derived the "benefit" which she sought from performance by the defendant or that any "benefit" which would have been derived is capable of being valued in monetary terms and would, when so valued, have been inadequate to recoup the expenditure, the plaintiff's recovery will be limited to the extent (if at all) to which it has not been established that that expenditure would not have been recouped. Even in a case where it is established that the plaintiff would have incurred a loss if the contract had been fully performed, reliance damages can be recovered in respect of wasted expenditure to the extent (if at all) that the past net expenditure exceeds that ultimate loss since, to that extent, the expenditure would have been recouped if there had been no breach.

It should be apparent from what has been said above that an award of reliance damages does not represent the direct recovery of the wasted net expenditure. The basis of an award of reliance damages is the ordinary one in an action for repudiation or breach, namely, that the plaintiff is, so far as money can do it, to be placed in the same situation with respect to damages as if the repudiation or breach had not occurred. Such an award represents the recovery [128] of the wasted net expenditure only in the indirect sense that, in the assessment of damages, the net benefits which would have been derived but for the repudiation or breach are quantified in monetary terms by reference to the presumption that their value would have at least equalled that wasted expenditure. In other words, the wasted expenditure represents "an alternative measure of gains prevented": see *Corbin on Contracts* (1964), vol 5, p 192.

The general statements in the two preceding paragraphs may be susceptible to criticism on the grounds that they are dogmatic about some matters which still remain the subject of learned discussion and differences of opinion: see, for example, Owen, "Some Aspects of the Recovery of Reliance Damages in the Law of Contract" (1984) 4 *Oxford Journal of Legal Studies* 393; Slawson, "The Role of Reliance in Contract Damages" (1990) 76 *Cornell Law Review* 197. They have been framed with the circumstances of the present case in mind and are not comprehensive in that they will be inadequate to deal with some particular problems which might arise in the assessment of damages in some of the circumstances to which they apply. Where, for example, the repudiation or breach of

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contract directly results in a detriment, such as an enforced expenditure of money, which would not otherwise have been sustained, the amount of that detriment will also be recoverable in a case where reliance damages are assessed on the presumption that the value of the benefits which the plaintiff would have derived from performance of the contract should be treated as at least equal in value to the total detriment which had been or would have been sustained by the plaintiff in doing whatever was reasonably necessary to procure and perform the contract. The reason why that is so is that when one compares the position which would have existed if the contract had been performed and the position which exists after its breach or repudiation, the comparison will disclose that, but for the breach or repudiation, net expenditure in procuring or performing the contract would (on the basis of the presumption) have been counterbalanced by the benefits resulting from performance, while expenditure consequent upon the repudiation or breach would not have been incurred at all.

The appeal: facts, issues and two problems …

[26.65] [129] There are two major problems involved in the comparison of the position in which Amann would have been placed if the Commonwealth had not repudiated the contract and the position in which it was placed after it had rescinded the contract on the ground of the Commonwealth's repudiation. The first problem is that, at the time of the Commonwealth's repudiation, Amann was itself in breach of the contract. Like the majority of the Full Federal Court, I consider that that existing breach of contract on the part of Amann was sufficient to found a proper exercise of the power of cancellation conferred upon the Secretary by cl 2.24 and that there was a significant possibility that, if the contract had not been repudiated by the Commonwealth, it would have been validly "cancelled" by the Secretary pursuant to that clause. If it had been so "cancelled", Amann would not have been entitled to the performance of the contract by the Commonwealth or to claim [130] damages for non-performance. The second problem also relates to the hypothetical situation which would have existed if the contract had not been repudiated. If the contract had turned out to represent a one-off involvement by Amann in aerial surveillance in this country and the aircraft acquired for performance of the contract could not, at the expiry of the contract, be sold locally at a value which reflected their special suitability for surveillance purposes, the contract would not have been a profitable one from Amann's point of view. In fact, however, Amann did not regard its involvement in aerial surveillance in this country as a one-off activity. To the contrary, a significant commercial advantage which Amann sought, and would have derived, from the contract if it had run its full course would have been the favourable position in which it would have been placed for obtaining a new contract with the Commonwealth for a further period of aerial surveillance of the northern coast. There are obvious difficulties about placing a value in monetary terms upon that favourable position.

Amann's claim for reliance damages

[26.70] It is convenient, for the moment, to put to one side the first of the above mentioned problems … There are two aspects of the second problem which are of present significance. The first is that it is impossible to do more than speculate about what Amann's approximate proportionate chance of obtaining a further contract after the expiry of the existing contract would have been if the contract had run its course. The most that can be said is that, at the end of the existing contract, Amann would have almost certainly enjoyed substantial advantages, in terms of experienced personnel and equipment held at depreciated values, over any potential new supplier of the relevant surveillance services and that, even if it had not itself won a further contract, there would have been a significant chance that it could sell its local undertaking or its aircraft to its successor for a price which reflected the special value of the aircraft (by reason of their equipment) to a supplier of coastal surveillance services. The second aspect is that one can also do no more than speculate about how advantageous to Amann any such future contract would have been if it had eventuated. The result is that it is impossible to do more than speculate about either the value to Amann of the chance of a further contract which would have existed at the end of the contract period or the price it would have obtained for its [131] equipment if the contract had been fully performed by the Commonwealth. It follows from the earlier discussion of relevant principles that, in these circumstances, Amann is entitled to found its claim for damages upon the presumption that the value of the contractual benefits which

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it would have derived from full performance by the Commonwealth would have at least equalled the expenditure incurred in obtaining the contract and in performance of it on its part. Clearly enough, the difficulty of assessing the value of the chance of a further contract or the resale value of the equipment makes it impossible for the Commonwealth to demonstrate that the total monetary value of any benefits which would have been derived by Amann from full performance would have been less than the total of its net expenditure. That being so, and subject to one important qualification, Amann is entitled to recover reliance damages equivalent to its wasted expenditure.

Amann's loss of an 80 per cent chance …

[26.75] The majority of the Full Court of the Federal Court concluded that there was a 20 per cent chance of cancellation [of the contract by the Secretary] … The 20 per cent chance that the contract would have been cancelled in any event is of a different nature from the chance that Amann may have obtained a further contract. The chance of a further contract was itself an ingredient of the net benefits which Amann would have obtained from performance of the contract by the Commonwealth and, as such, is accounted for by the presumption that the total value of those benefits would have at least equalled wasted net expenditure. In contrast, the 20 per cent chance of cancellation is not a contingency which has been factored into the net benefits which would have been derived from future performance of the contract for the purposes of that presumption. It is a superimposed risk which would have flowed not from performance of the contract but from Amann's own breach of the contract. That means that the combined effect of that presumption and the superimposed risk of cancellation is that what Amann lost by reason of the Commonwealth's repudiation was an 80 per cent [132] chance of recovering its wasted expenditure. In circumstances where damages are being assessed on the basis of what would have happened in a hypothetical situation and where it is a matter of speculation whether the Secretary would, in the exercise of the wide discretionary power entrusted to him, have actually cancelled the contract … it would be inappropriate and unjust to go beyond the determination that what Amann lost was an 80 per cent chance and, by reference to a balance of probability test, require the Commonwealth to pay damages assessed on the basis that there had been no possibility of cancellation and that Amann had lost not an 80 per cent but a 100 per cent chance of recoupment. In other words, the effect of the principles examined earlier in this judgment is that the case is one in which "the court must make an estimate as to what are the chances that a particular thing … would have happened and reflect those chances, whether they are more or less than even, in the amount of damages which it awards": *Mallett v McMonagle* [1970] AC 166 at 176, per Lord Diplock. That being so, the damages which Amann is entitled to recover from the Commonwealth are, for the reasons which I have endeavoured to explain in this judgment, limited to the value of an 80 per cent chance of recouping its wasted expenditure, that is to say, to 80 per cent of the value of that expenditure …

Conclusion

[133] In the result, the amount of the primary damages awarded to Amann by the Full Court of the Federal Court must be reduced by one fifth or 20 per cent …

TOOHEY J [stated that he was in general agreement with the principles enunciated in the joint judgment of Mason CJ and Dawson J but disagreed with them on the question of the onus of proof. His Honour said]:

[26.80] [140] In the circumstances of *McRae* the defendant could not even discharge an evidentiary onus. The nature of the breach made it, in a logical sense, impossible for the defendant to adduce evidence of what return the plaintiffs would or might have received. There was no evidence, as there was in the present case, of the possibility of alternative, future events. In the absence of evidence, the question was who should bear all the wasted cost; there was certainly no objective basis on which to discount the expenditure.

Therefore, since the primary question before the court in *McRae* [141] was whether damages could, in principle, be assessed by reference to expenditure at all and since it was theoretically impossible for the defendant to adduce any evidence as to expenditure, that case is not, in my view, authority for a

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general proposition that an onus of proof in the strict sense rests on the defendant to show that, even without his breach, the plaintiff would not have recovered the expenditure …

[142] On the other hand, to say that no strict onus is imposed on a defendant does not mean that, in circumstances of uncertainty, the burden remains throughout with the plaintiff. There is, in effect, an evidentiary onus on the defendant to show that receipts would not have equalled outlay by the plaintiff, though ultimately the aim is to determine what loss has occurred on the basis of all available evidence. It may be assumed, in the absence of evidence to the [143] contrary, that the plaintiff would have recovered his costs. Whether this is based on a presumption that persons would not enter into a contract if they were not able to recover at least their costs or on the basis of the proposition that, as a matter of policy, the party not in breach should in the absence of evidence be favoured does not matter. But there is no strict onus of proof on a defendant to demonstrate that the plaintiff would not have recovered his outlay, even if the contract had been fully performed. It follows from what has been said that the fairest method of assessing damages, and the method most appropriate for the implementation of the concept of compensation in circumstances of uncertainty, is to balance contingencies which are significant …

[145] One more factor should be considered when weighing contingencies. It is that the Commonwealth, in entering a contract for three years, notwithstanding a clear commercial base for the contract, had the incontestable right to act in a commercially perverse way. This is not to say that such a right renders the commercial reality of a contract irrelevant because, as I have said, the advantage accruing to Amann by being the most viable contractor at the end of the initial three years is a benefit arising from its contractual rights. However, it is to say that such a right – to act contrary to commercial prudence – must be given weight when determining the likelihood of non-renewal …

The fact remains that the Commonwealth had not committed itself contractually beyond a period of three years. It is true that commercial advantages would be a benefit accruing to Amann but the risk of that benefit (the risk of acquiring it and the risk of losing it) was, to the extent of the likelihood of non-renewal, for Amann to bear. This is to say, to the extent of the likelihood that the Commonwealth would have decided not to renew the contract – because Amann did not perform the contract to the satisfaction of the Commonwealth, because of altered commercial or technological circumstances or because the Commonwealth, for its own reasons, chose to forgo its own advantage in a renewal – the risk involved in Amann's disproportionate expenditure was its own …

[26.85] MCHUGH J: (dissenting) [161] In the ordinary case, a claim for reliance damages cannot be made because the application of the principle in *Robinson v Harman* makes any expenditure incurred in reliance on the defendant's promise irrelevant.

Where the breach of contract occurs after the plaintiff has incurred expense in preparing or performing the contract, the plaintiff's loss is ordinarily the difference between the value of the benefits which it would have received under the contract, as and from the date of breach, and the expense which the plaintiff would have incurred, as and from that date, in performing its own contractual obligations. In the ordinary case of repudiation, any expense which the plaintiff has incurred in preparing to perform or in performing the contract prior to breach is irrelevant to the assessment of the damages to be awarded. Except in very special circumstances, damages for breach of contract are assessed [162] by reference to the circumstances which existed at the date of breach: *Wenham* at 473; *Miliangos v Frank (Textiles) Ltd* [1976] AC 443 at 468; *Johnson v Agnew* [1980] AC 367 at 400–1. If a plaintiff has expended or incurred liabilities of $100 000 prior to breach and would have received $200 000 in the future if the defendant had performed its contractual obligations, the amount of the plaintiff's damages is the difference between the $200 000 and the expenditure which the plaintiff would have incurred in performing its future obligations. The $100 000 already expended or incurred is irrelevant …

[T]he most important class of case where the plaintiff is entitled to recover wasted expenditure is the one where the plaintiff cannot prove any loss of profit because the nature of the breach makes it impossible or too uncertain to ascertain whether the plaintiff would have made any profit or, if it

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would have, what the amount of that profit would have been. In *McRae v Commonwealth Disposals Commission* this court held (at 415) that, where the defendant had contracted to sell an "OIL TANKER lying on JOURMAUND REEF" and no such tanker existed, the plaintiff's damages were "to be measured by reference to expenditure incurred and wasted in reliance on the Commission's promise that a tanker existed at the place specified". Dixon and Fullagar JJ said (at 414):

> If we regard the case as a simple and normal case of breach by non-delivery, the plaintiffs have no starting point. The burden of proof is on them, and they cannot establish that they have suffered any damage unless they can show that a tanker delivered in performance of the contract would have had some value, and this they cannot show. But when the contract alleged is a contract that there was a tanker in a particular place, and the breach assigned is that there was no tanker there, and the damages claimed are measured by expenditure incurred on the faith of the promise that there was a tanker in that place, the plaintiffs are in a very different position. They have now a starting point. They can say: (1) this expense was [165] incurred; (2) it was incurred because you promised us that there was a tanker; (3) the fact that there was no tanker made it certain that this expense would be wasted. The plaintiffs have in this way a starting point. They make a prima facie case. The fact that the expense was wasted flowed prima facie from the fact that there was no tanker; and the first fact is damage, and the second fact is breach of contract. The burden is now thrown on the Commission of establishing that, if there had been a tanker, the expense incurred would equally have been wasted. This, of course, the Commission cannot establish. The fact is that the impossibility of assessing damages on the basis of a comparison between what was promised and what was delivered arises not because what was promised was valueless but because it is impossible to value a non-existent thing. It is the breach of contract itself which makes it impossible even to undertake an assessment on that basis. It is not impossible, however, to undertake an assessment on another basis, and, in so far as the Commission's breach of contract itself reduces the possibility of an accurate assessment, it is not for the Commission to complain.

In the Full Court in the present case, Burchett J took the view that the basis of decisions such as *McRae* is that, where parties have freely negotiated a contract in the ordinary course of commerce, proof of the incurring of expenditure appropriate to the performance of the contract raises a "prima facie inference" that it will be recouped from carrying out the contract …

With great respect to his Honour, I think that no such inference arises in commercial cases as a matter either of law or of commercial experience …

[166] I would reject the explanation that the basis of cases such as *McRae* is or ought to be that proof of expenditure gives rise to a prima facie inference that it will be recouped by the carrying out of the contract. The rule in *McRae* is satisfactorily based on the broad principle of justice that, if the breach of the defendant has made it impossible to ascertain whether or not the plaintiff would have made a profit from the performance of the contract, it is only fair that the defendant should reimburse the plaintiff for expenditure which it has wasted as a result of the breach.

… In a case like *McRae*, until the plaintiff proves that the defendant's breach has made it impossible to prove the outcome of the contract or the value of the defendant's promise, expenditure wasted in reliance on the defendant's promise is not recoverable. But once the plaintiff discharges that burden of proof, it is entitled [167] to be compensated for all expenditure wasted in reasonable reliance on the defendant's promise to perform its side of the contract.

Amann's loss

[26.90] It needs to be kept firmly in mind that, for the purpose of the principle in *Robinson v Harman*, the "loss" which Amann suffered as the result of the breach by the Commonwealth is not the same thing as any profit that it may have made under the contract or even any profit which it might have made on its operations in the post-breach period. In assessing any "profit" of Amann, any revenue

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obtained under the contract could properly be charged, wholly or proportionately, with costs and expenses already incurred as at the date of breach. But in assessing Amann's loss as the result of the breach, the only consideration is: what sum of money will place Amann "in the same situation … as if the contract had been performed"?

As at the date of breach, Amann had already paid or incurred a liability to pay $6 136 464 in acquiring aircraft and in other establishment costs. It appears that, if the contract had continued, Amann would have been liable to pay another $368 479 in respect of the acquisition of aircraft. Whether or not it had already incurred liability in respect of that payment is not clear. But the better view would seem to be that it was a liability which would be incurred in the future. I shall act on that basis. The learned trial judge also found that the cost to Amann of borrowing money to purchase the aircraft was $3 390 000. It was a liability, however, that had been incurred as at the date of breach. On the Full Court's findings of fact, Amann was liable to indemnify another company for the cost of the aircraft and would have to borrow to fund that liability. It is immaterial whether the precise sum would have been $3 390 000 or a larger or smaller sum. The important point is that, as at the date of breach, Amann had paid or had a liability to pay $6 136 464, part of which gave rise to a further liability in the form of interest payments or its equivalent of $3 390 000. The liability to pay the $3 390 000 or some equivalent sum had been incurred as at the date of breach. It was not a liability to be incurred in the future, as the figures put forward by the Commonwealth assumed. So as at the date of breach, Amann had paid or was liable to pay $9 526 464 ($6 136 464 + $3 390 000). Those payments and liabilities had to be recouped or met by Amann from the revenue generated by the contract or from its own or other sources. They had to be recouped or met whether the contract ran until its expiry date or was sooner terminated by Amann, the Commonwealth, the consent of the [168] parties or frustration of law. But they are irrelevant in determining how much better off Amann would have been if both parties had continued to perform their obligations under the contract. If Amann had abandoned the contract the moment before breach, those payments and liabilities would have existed. They were not liabilities which had to be incurred after 12 September 1987 if Amann was to earn the $17 107 462 in revenue to which it was entitled under the contract. Likewise, questions concerning the value of the aircraft are irrelevant to the computation of Amann's loss. Once those aircraft were committed to the surveillance contract and fitted out for that purpose, they had an intrinsic value of only $917 329. From Amann's point of view, after conversion their residual value was $917 329. And even if Amann had obtained any contract awarded in 1990 that would have been their value at the commencement of that contract. As at the date of breach, therefore, Amann had already lost the difference between the cost of acquiring those aircraft and their residual value.

If there had been no breach of contract by the Commonwealth, Amann had only two expenditures to incur in the future to obtain the $17 107 462 revenue which it would have derived under the contract. They were its operating costs, which Beaumont J assessed at $12 043 420, and the sum of $368 479 to be paid in respect of the acquisition of aircraft. It may be that three years of operations would have meant some small decline in the residual value of the aircraft. But no point was made about this, and it can be ignored. Accordingly, in my opinion, if the contract had continued instead of being breached and terminated, Amann would have been $4 695 563 ($17 107 462 ($12 043 420 + $368 479)) better off than it was immediately before the breach. As the result of the breach, Amann was also required to pay the sum of $143 049 in termination payments to its employees and a security deposit of $113 000 was wrongly forfeited. Both these amounts are recoverable as part of Amann's loss which, therefore, totals $4 951 612 …

[169] Amann's prima facie loss, therefore, is the sum of $4 951 612. I say prima facie because Amann says that it was also entitled to damages for the loss of the chance to earn profits under any contract let in 1990. Since it is common ground that, in the circumstances of the case, damages for loss of the chance are impossible to assess, Amann concedes that it [170] could not obtain any expectation damages for that loss of chance but says that it is entitled to reliance damages in accordance with the principle of *McRae's* case. Consequently, Amann says its loss is not $4 951 612 or whatever sum represents what can be calculated as expectation damages. Its loss is the pre-breach expenditure. On

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the other hand, the Commonwealth contends that Amann's prima facie loss must be discounted to allow for the contingency that the 1987 contract might have been terminated before its expiration because of Amann's own breaches of contract.

Reliance damages in this case

[26.95] If reliance damages are to be awarded to Amann, it can only be on one of two possible grounds: first, that the Commonwealth expressly or impliedly promised Amann that, if it performed the 1987 contract, it would obtain a commercial advantage which would enable it to earn profits under any contract let in 1990 and the value of that commercial advantage cannot be assessed because of the breach; second, that although the Commonwealth made no promise concerning the 1990 contract, one of the consequences of the breach of the 1987 contract is so uncertain or impossible to assess that it is just and proper to award reliance damages.

The promise of a commercial advantage

[26.100] If the Commonwealth promised Amann that performance of the 1987 contract would confer a commercial advantage on it and that, by reason of the breach of contract, the value of the commercial advantage could not be assessed, there would be no difficulty in applying *McRae's* case and holding that Amann was entitled to reliance damages. Amann's pre-breach expenditure would have been incurred in reliance on the Commonwealth's promise that a commercial benefit would flow from the performance of the contract. The claim by Amann would, therefore, be firmly rooted in reliance damages doctrine. But the evidence does not establish any express or implied promise by the Commonwealth that the 1987 contract would confer any implied commercial advantage on Amann.

In the absence of an express or implied contractual stipulation, the common law rejects the notion that a plaintiff claiming damages for breach of contract is entitled to be compensated for, or have taken into account, a commercial advantage or loss of opportunity to display business or professional skills or to enhance a professional or business reputation. Where the contract of an actor, producer or author has been wrongly terminated, damages may be recovered for [171] the loss of the opportunity to enhance his or her reputation: *Marbe v George Edwardes (Daly's Theatre) Ltd* [1928] 1 KB 269; *Herbert Clayton and Jack Waller Ltd v Oliver*; *White v Australian and New Zealand Theatres Ltd*; *Joseph v National Magazine Co Ltd* [1959] Ch 14. But the true explanation of these cases is that there is an implied promise on the part of the employer to afford the actor, producer or author such an opportunity: see *Oliver* at 218 per Lord Buckmaster; *White* at 271, 273, 281–2; and compare *Re Golomb* (1931) 144 LT 583 at 590–1 per Greer LJ. Whether the promise in these cases arises from business necessity or is implied by law, those cases are in a special category. They provide no foundation for supposing that there is any general rule that contractual promises in a business or professional context give rise to a further implied promise that the promisee will obtain the commercial advantages which are expected to flow from the performance of the contract. The fulfilment of such expectations is at the promisee's risk. In the absence of special facts peculiar to the contract in question, there is no ground for implying such a term into an ordinary commercial or professional contract as a matter of either fact or law. The contrary view would have far-reaching effects. It would mean, for example, that the householder who wrongly terminated a contract with an interior decorator would be liable for damages for depriving the decorator of the opportunity to enhance his or her reputation with the householder's friends and neighbours. In *Re Golomb*, in dismissing a claim "to recover damages for loss of prestige and (or) publicity" by a person who had not been appointed as a company director, Scrutton LJ said (at 587) that the claim was "one which has startled me very much" …

Nor is its claim supported by *TC Industrial Plant* where this court said (at 294) that, in assessing damages for breach of warranty of [172] fitness, regard could be had to the receipts and expenditure which the plaintiff would have obtained or incurred under a contract with the Commonwealth "and the probable extension thereof". Since the promisor had warranted that the machine was fit for the purpose of carrying out work of the relevant kind, the damages included what could be earned under the contract and what might have been earned under the extension in performing the work which the promisor had warranted the machine was fit to carry out.

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There was no express promise and there were no facts peculiar to the 1987 contract which gave rise to an implied promise that if Amann performed the 1987 contract, it would obtain a commercial advantage which would enable it to earn profits under any contract let in 1990. Accordingly, Amann is not entitled to damages for breach of such a promise. This basis for claiming reliance damages must be rejected.

Reliance damages where a consequence of the breach is uncertain

[26.105] If reliance damages are to be awarded, it can only be upon the second ground to which I have referred, that is, that one of the consequences of the breach of contract by the Commonwealth is so uncertain or impossible to assess that it is just and proper to award Amann reliance damages. In other words, the claim for reliance damages is not because there is any claim that there has been a breach of any promise in relation to any contract to be let in 1990; it is because the breach of the promises made in the 1987 contract has caused a *consequential* loss to Amann which is impossible to assess. The claim, therefore, goes beyond the claim which this court accepted in *McRae*.

It is one thing to assess damages on a reliance basis when it is impossible or too uncertain to determine what the value of the defendant's promise would have been. It is another matter altogether to say that, although the value of the defendant's promise can be fully and accurately determined, reliance damages can be awarded because a consequence of the defendant's breach is too uncertain or impossible to evaluate. If the promise of the defendant can be valued, an award of expectation damages, based on the estimated outcome of the contract, gives the plaintiff all that it was entitled to receive in return for any moneys expended in reliance on the defendant's promise. Consequently, if Amann can be awarded "reliance" damages in this case – where the value of the Commonwealth's promise can be fully determined – it means that "reliance" damages can be awarded, not because money was expended in reliance on the defendant's promise and that promise [173] cannot be valued, but because the defendant's breach of promise may have caused a consequential loss to the plaintiff. To award "reliance" damages on such a basis would be contrary to the rationale of the reliance damages doctrine.

Consequently, I would reject the claim that reliance damages should be awarded in this case because Amann was entitled to have the loss of the chance of future profits taken into account in assessing damages. The loss of that chance flows from its expectations and not the Commonwealth's promise. Indeed, the fact that it was a Commonwealth contract under which there was a chance to make profits seems accidental. If the claim for reliance damages could succeed in this case, it would seem to make no difference that the breach had caused the loss of a chance to earn profits under some other contract to which the Commonwealth was not a party.

Moreover, even if, contrary to my view, reliance damages can be awarded in a case where the outcome of the contract and the value of the defendant's promise can be accurately determined, I would reject the claim on the facts of this case.

Causation

[26.110] The Commonwealth contended that the Full Court was not justified in attaching significance to Amann's prospects of obtaining a renewal or extension of the contract because "to include in the assessment of damages an allowance for that which would have been obtained under a renewed or extended contract is to compensate the contractor for loss *resulting* from a decision not to renew or extend rather than for loss *resulting* from the breach" (my italics). The Commonwealth argued that the breach did not prevent Amann from tendering for any further contract beyond 12 September 1990. The contention of the Commonwealth raises the question whether its breach of contract caused the loss of the chance of obtaining profits from any renewal or extension of the 1987 contract.

Absent any contrary contractual stipulation, a plaintiff is entitled to be compensated only for loss or damage which is the result of the defendant's breach. Loss or damage which flows from the plaintiff's inability to perform or obtain another contract is recoverable only if that loss or damage resulted from the breach and was reasonably foreseeable as likely to result from the breach: see *Reg*

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Glass Pty Ltd v Rivers Locking Systems Pty Ltd (1968) 120 CLR 516 at 523. It is not enough that the parties contemplated that the contract would probably be [174] renewed or that loss or damage to the plaintiff might occur if the contract was not renewed. When the defendant has refused to promise that the contract would be renewed and the issue of renewal is at the risk of the plaintiff, it seems almost paradoxical to find that the defendant should have to pay damages to the plaintiff when the risk has been realised. Nevertheless, accepting for the purpose of the argument that, although the Commonwealth did not promise to renew the contract, it may have to pay damages for the loss of the chance of earning profits under a renewed contract, Amann could not succeed in that claim unless it proved that the Commonwealth's breach caused the loss of that chance.

In the Full Court, it appears to have been taken for granted that the breach caused the loss of the chance that the contract would be renewed. At all events, the members of the Full Court did not discuss the matter. They appear to have acted on the assumption that, if the parties contemplated that the contract would probably be renewed, Amann was entitled to have its damages assessed on the basis that it had lost the chance of earning profits under a renewal of the contract. But the contemplation of the parties goes to the issue of remoteness, not causation. Foreseeability is not relevant to the issue of causation in a civil case: *Chapman v Hearse* (1961) 106 CLR 112 at 122. The assumption made in the Full Court reflects the rule concerning remoteness of damage which is to be found in such cases as *Hadley v Baxendale*. That rule is an exclusionary rule. The contemplation of the parties marks the boundary of the liability for loss or damage caused by a breach of contract. It is a limit on, and not a ground of, liability. Consequently, the finding of Davies J that future "extensions of the contract were not only in the contemplation of both parties but probable" is not decisive of the issue of causation. The probability of renewal could have no relevance to that issue unless it also be found that the Commonwealth's breach of contract destroyed that probability. Under the issue of causation, the question is not whether the contract was likely to be renewed or whether the parties contemplated its renewal but whether any failure to renew it would be the result of the defendant's breach of contract …

[175] If the Commonwealth's breach of contract caused the loss of the chance of obtaining profits under a renewal or extension of the 1987 contract, it must be because it either prevented Amann from tendering for or effectively destroyed its chance of being awarded that contract. But nothing resulting from the Commonwealth's *breach* of contract prevented Amann from tendering for any contract offered in September 1990. The breach of contract did not affect Amann's capacity to tender for that contract. The capacity of its aircraft to carry out that contract was unaffected by the breach. Since Amann was entitled to recover damages for any loss arising under the 1987 contract, it would be in no worse financial position when tendering for any 1990 contract than it would have been if [176] there had been no breach. Of course, in the three-year period before any 1990 contract came up for tender, Amann may have elected to sell its aircraft, disband its personnel or abandon the business. But, if it did, any or all of those acts would be the result of a voluntary choice made by Amann. And, unless constrained by the conduct of the wrongdoer, a result which occurs because of the subsequent voluntary act of the plaintiff or a third party is not "caused" by the wrongdoer for the purposes of the common law doctrine of damages.

The present case is different, for example, from a case of a negligently caused injury which has resulted in a plaintiff suffering damage by reason of losing a chance of promotion. In such a case, the injury constrains the employer to reject any application for promotion and is rightly seen as a cause of the loss of the chance of promotion. But nothing in the Commonwealth's breach or anything directly flowing from it could dictate the result of or affect the tendering process for any contract offered in 1990. Even if any tender by Amann was rejected out of hand without any real consideration, it could be safely inferred that the cause of the rejection was not the Commonwealth's breach of contract but its perception of Amann's capacity and reliability.

Accordingly, in my opinion, Amann was not entitled to have its damages assessed on the basis that it should be compensated for the loss of the chance of obtaining profits under any further contracts. Both as a matter of principle and, in any event, on the facts of the case Amann's claim

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to have its damages assessed on a reliance basis fails. Subject to the discount argument considered below, Amann's loss for the purpose of the principle in *Robinson v Harman* was the sum of $4 695 563 together with the sum of $256 049 in respect of the security deposit forfeited and the termination expenses incurred.

Discount for the prospect of termination under cl 2.24

[26.115] When Amann accepted the repudiation of the Commonwealth, it was itself in breach of contract. In the Full Court, Davies J held that there was a 20 per cent chance that the contract would have been cancelled pursuant to the provisions of cl 2.24. However, his Honour thought that such a chance should not be taken into account in assessing damages. I agree with his Honour's construction of cl 2.24 and with his reasons for the conclusion that there was a 20 per cent chance that the Secretary would have terminated the contract by reason of Amann's breaches. In my opinion, however, since Amann had only an 80 per cent chance of [177] recovering the sum of $4 695 563 and the sum of $113 000 representing the security deposit, its damages should be reduced accordingly: see *Malec v JC Hutton Pty Ltd* (1990) 169 CLR 638 at 642–3. Just as in a personal injury case, the plaintiff's damages must be discounted for the general and specific contingencies applicable to his or her case, so in a contract case the plaintiff's damages must be discounted to cover any specific contingencies that may have prevented the plaintiff from recovering all the moneys which it had been promised.

Amann's damages, therefore, are 80 per cent of $4 808 563 ($4 695 563 and $113 000), which equals $3 846 850, together with the sum of $143 049 for termination payments to employees. That makes a total of $3 989 899. In addition, Amann is entitled to interest pursuant to s 51A of the *Federal Court of Australia Act 1976* (Cth). The sum of $4 695 563 would have been earned over and not at the beginning of the three-year period of the contract. It is appropriate, therefore, that Amann should receive interest on only one half of 80 per cent of that sum for the period 12 September 1987 to 12 September 1990. Thereafter, it should receive interest on 80 per cent of $4 695 563 to the date of this judgment. It should also receive interest on 80 per cent of the sum of $113 000 (the security deposit) and on all of the sum of $143 049 (the termination payments) from 15 September 1987, the date of the termination of the contract.

The appeal should be allowed …

[GAUDRON J said that because of the uncertainties involved "it would not be possible, applying [the] usual method of valuation to make a reliable estimate of the value of Amann's contractual rights". Her Honour said that there was nothing in *McRae* to suggest that the defendant bears anything other than an evidentiary onus. In the present case, although the income which Amann would have received had the contract run its course would not have covered its outlay, it was necessary to take into account the value of the planes at the end of the three year period. It was likely that they would have a substantial value which would reflect the Commonwealth's need to contract for future aerial surveillance. That value made it impossible to say that the contract would have been unprofitable and supported the assumption that the value of Amann's contractual rights was no less than the expenditure wasted. Her Honour said that the appeal should be dismissed.]

Appeal dismissed.

EXPECTATION DAMAGES

[26.120] Expectation damages are awarded to compensate a plaintiff for the loss of the benefit he or she expected to gain from performance of a contract. Often this measure is straightforward, for example, a plaintiff will be awarded the profit he or she expected to earn from the transaction.

Damages for breach of an obligation to build or repair

[26.122] In a case where the breach of contract involves defective work, an issue arises of whether the plaintiff should be awarded the difference between the market value of the property and the value it would have had if the contract had been properly performed or the cost of remedying the work. *Bellgrove v Eldridge* (1954) 90 CLR 613 and *Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272; [2009] HCA 8, illustrate the concern shown by courts in such cases genuinely to compensate the plaintiff for his or her expectation loss.

Bellgrove v Eldridge

[26.125] *Bellgrove v Eldridge* (1954) 90 CLR 613 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: The *appellant*, a builder, entered into a contract with the *respondent* to build for her a two-storey "brick house villa" in accordance with certain plans and specifications for the sum of £3,500. The issue before the court concerned the respondent's claim for damages in respect of substantial departures from the specifications in the contract. The trial judge found that the appellant's failure to comply with the building specifications had resulted in grave instability in the building as erected. The trial judge based the respondent's damages on the cost of demolishing and re-erecting the building in accordance with the plans and specifications.]

DIXON CJ, WEBB AND TAYLOR JJ: [616] The first objection to [the finding of the trial judge] was a submission of law advanced by the appellant. This submission assumes the validity of all of his Honour's findings but asserts that there was evidence upon which a finding was not only justifiable but inevitable that the building was of some value, over and above demolition value, at the time of the breach. In particular, it was said, the building as it stood was saleable, at least, to some builders who were prepared to attempt the rectification of the existing defects by methods less drastic than demolition and rebuilding. This being so, it was contended, the proper measure of damages was the difference between the value of the house – and presumably the land upon which it stands – ascertained by reference to the amount which could be obtained for it on such a sale and the value which it would have borne if erected in accordance with the plans and specifications. To support this contention counsel for the respondent referred to the general proposition that damages when awarded should be of such an amount as will put an injured party in the same position as he would have been if he had not sustained the injury for which damages are claimed. Accordingly, it was said, damages should have been assessed by reference to the value of the building as it stands and the value it would have borne if erected in accordance with the plans and specifications since this was the true measure of the respondent's financial loss.

Whilst [617] we readily agree with the general proposition submitted to us and with the remarks of Lord Blackburn in *Livingstone v Rawyards Coal Co* (1880) 5 App Cas 25 at p 39 which were cited to us, we emphatically disagree with the submission that the application of that proposition or the general principle expounded by his Lordship produces the result contended for in this case. It is true that a difference in the values indicated may, in one sense, represent the respondent's financial loss. But it is not in any real sense so represented. In assessing damages in cases which are concerned with the sale of goods the measure, prima facie, to be applied where defective goods have been tendered and accepted, is the difference between the value of the goods at the time of delivery and the value they would have had if they had conformed to the contract. But in such cases the plaintiff sues for damages for a breach of warranty with respect to marketable commodities and this is in no real sense the position in cases such as the present.

In the present case, the respondent was entitled to have a building erected upon her land in accordance with the contract and the plans and specifications which formed part of it, and her damage is the loss which she has sustained by the failure of the appellant to perform his obligation to her. This loss cannot be measured by comparing the value of the building which has been erected with the value it would have borne if erected in accordance with the contract; her loss can, prima facie, be measured

Bellgrove v Eldridge cont.

only by ascertaining the amount required to rectify the defects complained of and so give to her the equivalent of a building on her land which is substantially in accordance with the contract.

One or two illustrations are sufficient to show that the prima facie rule for assessing damages for a breach of warranty upon the sale of goods has no application to the present case. Departures from the plans and specifications forming part of a contract for the erection of a building may result in the completion of a building which, whilst differing in some particulars from that contracted for, is no less valuable. For instance, particular rooms in such a building may be finished in one colour instead of quite a different colour as specified. Is the owner in these circumstances without a remedy? In our opinion he is not; he is entitled to the reasonable cost of rectifying the departure or defect so far as that is possible. Subject to a qualification to which we shall refer presently the rule is, we think, correctly stated in *Hudson on Building Contracts*, 7th ed (1946), p 343.

> The measure of the damages recoverable by the building owner for the breach of a building contract is, it is submitted, the difference between the contract price of the work [618] or building contracted for and the cost of making the work or building conform to the contract, with the addition, in most cases, of the amount of profits or earnings lost by the breach.

Ample support for this proposition is to be found in *Thornton v Place* (1832) 1 M & Rob 218, 174 ER 74; *Chapel v Hickes* (1833) 2 C & M 214, 149 ER 738 and *H Dakin & Co Ltd v Lee* [1916] 1 KB 566. (See also *Pearson-Burleigh Ltd v Pioneer Grain Co* (1933) 1 DLR 714 and cf *Forrest v Scottish County Investment Co Ltd* [1915] SC 115 and *Hardwick v Lincoln* [1946] NZLR 309.)

But the work necessary to remedy defects in a building and so produce conformity with the plans and specifications may, and frequently will, require the removal or demolition of some part of the structure. And it is obvious that the necessary remedial work may call for the removal or demolition of a more or less substantial part of the building. Indeed – and such was held to be the position in the present case – there may well be cases where the only practicable method of producing conformity with plans and specifications is by demolishing the whole of the building and erecting another in its place. In none of these cases is anything more done than that work which is required to achieve conformity and the cost of the work, whether it be necessary to replace only a small part, or a substantial part, or, indeed, the whole of the building is, subject to the qualification which we have already mentioned and to which we shall refer, together with any appropriate consequential damages, the extent of the building owner's loss.

The qualification, however, to which this rule is subject is that, not only must the work undertaken be necessary to produce conformity, but that also, it must be a reasonable course to adopt. No one would doubt that where pursuant to a building contract calling for the erection of a house with cement rendered external walls of second-hand bricks, the builder has constructed the walls of new bricks of first quality the owner would not be entitled to the cost of demolishing the walls and re-erecting them in second-hand bricks. In such circumstances the work of demolition and re-erection would be quite unreasonable or it would, to use a term current in the United States, constitute "economic waste". (See *Restatement of the Law of Contracts* (1932) [346].) We prefer, however, to think that the building owner's right to undertake remedial works at the expense of a builder is not subject to any limit other than is to be found in the expressions "necessary" and "reasonable", for the expression "economic waste" appears [619] to us to go too far and would deny to a building owner the right to demolish a structure which, though satisfactory as a structure of a particular type, is quite different in character from that called for by the contract.

Many examples may, of course, be given of remedial work, which though necessary to produce conformity would not constitute a reasonable method of dealing with the situation and in such cases the true measure of the building owner's loss will be the diminution in value, if any, produced by the departure from the plans and specifications or by the defective workmanship or materials.

As to what remedial work is both "necessary" and "reasonable" in any particular case is a question of fact. But the question whether demolition and re-erection is a reasonable method of remedying defects does not arise when defective foundations seriously threaten the stability of a house and when

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the threat can be removed only by such a course. That work, in such circumstances, is obviously reasonable and in our opinion, may be undertaken at the expense of the builder.

As we have already said the appellant does not seek to challenge the finding of the learned trial judge that the existing foundations are such as to threaten the stability of the building and the question which arises in this case is therefore whether demolition and rebuilding is the only practicable method of dealing with the situation that has arisen. The learned trial judge thought it was and after hearing and considering the arguments on this appeal we agree with him. There was evidence from some witnesses in the case that stability might be assured by under-pinning the existing foundation, but Mr Ahearn, an architect, upon whose evidence the learned trial judge appears to have been prepared to rely, denied that this process, as described by earlier witnesses and involving the retention of the existing foundations, would constitute any remedy. He said that he would not consider that course at all. Apparently he did not consider such a course practical. He did, however, appear to concede that a practical solution would be "to chop out the existing footings and put in new". But on a careful reading of Mr Ahearn's evidence we have come to the conclusion that he did not advocate the piecemeal replacement of the foundations as a practical solution and that the extent of his apparent concession was merely that, if under-pinning of any kind should be decided upon, the whole of the foundations should be replaced. Any other form of under-pinning he regarded as useless. He then went on to say that the replacement of the foundations would present quite a problem from a practical point of view, that it could be done only in a piecemeal fashion by [620] removing and replacing three-foot sections at a time, and that "you would finish up not having a uniform run of footings right throughout your building". Mr Ahearn did not further enlarge upon the difficulties of this process, nor upon the question whether he regarded it as a satisfactory remedy for the present serious defects, but it is clear that the learned trial judge was satisfied that under-pinning or the replacement of the existing foundations in such a manner would constitute but a doubtful remedy. Not only do we think that his Honour's conclusion was justified, but after reading the evidence and considering the submissions of counsel we are satisfied that under-pinning by the piecemeal replacement of the foundations would, at the very best, constitute but a doubtful remedy. To give to the respondent the cost of a doubtful remedy would by no means adequately compensate her, for the employment of such a remedy could not in any sense be regarded as ensuring to her the equivalent of a substantial performance by the appellant of his contractual obligations.

It was suggested during the course of argument that if the respondent retains her present judgment and it is satisfied, she may or may not demolish the existing house and re-erect another. If she does not, it is said, she will still have a house together with the cost of erecting another one. To our mind this circumstance is quite immaterial and is but one variation of a feature which so often presents itself in the assessment of damages in cases where they must be assessed once and for all.

For the reasons which we have given we are of the opinion that the appeal should be dismissed.

Appeal dismissed with costs.

Tabcorp Holdings v Bowen Investments

[26.130] *Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272; [2009] HCA 8 (Supreme Court of New South Wales Court of Appeal) – Appeal from the Supreme Court of New South Wales (footnotes omitted).

[FACTS: The facts are summarised in the judgment.]

FRENCH CJ, GUMMOW, HEYDON, CRENNAN AND KIEFEL JJ: [1] On Monday 14 July 1997, Mrs Maria Bergamin arrived at an office building at 5 Bowen Crescent, Melbourne. There she found that the foyer of the building had been badly damaged. A glass and stone partition, timber panelling and stone floor tiles had been removed. She was shocked and dismayed to see what remained of the floor stone work

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being jack hammered. A large bin was filled with the debris of the foyer. This destruction had been carried out by a tenant, Tabcorp Holdings Ltd ("the Tenant"), the appellant in this appeal.

[2] Why was Mrs Bergamin shocked and dismayed? She was a director of the respondent, Bowen Investments Pty Ltd ("the Landlord"), a company which owned the building. She had taken particular care over and interest in the construction of the foyer. It was of high quality. It was made of special materials – San Francisco Green granite, Canberra York Grey granite, and sequence-matched crown-cut American cherry. The construction of the foyer had been completed less than six months earlier. The Tenant had taken possession under a lease granted by the Landlord less than six months earlier. The lease contained a covenant, cl 2.13, forbidding the Tenant to alter the premises without the prior written approval of the Landlord. Mrs Bergamin had on Thursday 10 July 1997 arranged for the Tenant to be told that the Landlord did not consent to any alteration to the foyer. Mrs Bergamin had informed the Tenant in writing on Friday 11 July 1997 that the Landlord could not consent until the Tenant's proposed alterations were examined at a site meeting at 11am on Monday 14 July 1997. It was when Mrs Bergamin arrived at 10.45am on 14 July 1997 in order to attend that site meeting that she observed the destruction which had taken place and which was continuing to take place. The trial judge specifically found that the Tenant was well aware that written consent from the Landlord to do what the Tenant had done was needed, and that that consent did not exist.

[3] Mrs Bergamin protested about what had happened, but the Tenant continued to alter the foyer and substitute a new foyer until the process was complete on 31 August 1997.

[4] The trial judge's description of the Tenant's conduct as involving "contumelious disregard" for the Landlord's rights was not hyperbolic. Nor has it been challenged.

[5] The Landlord pursued claims against the Tenant in the Federal Court of Australia based on many causes of action. Most of them were rejected by the trial judge (Tracey J) for reasons with which the Landlord does not now cavil. The only claim which the trial judge upheld was a claim for common law damages in relation to two breaches by the Tenant of cl 2.13: the destruction of the old foyer up to 14 July 1997, and the construction of a new foyer up to 31 August 1997. He gave judgment for the Landlord in the sum of $34,820: most of that figure was made up of the difference between the value of the property with the old foyer and the value of the property with the new foyer constructed by the Tenant. The Full Court of the Federal Court of Australia increased the judgment sum to $1.38m. That sum comprised $580,000 as the cost of restoring the foyer to its original condition and $800,000 for loss of rent while that restoration was taking place. In this appeal the Tenant seeks restoration of the trial judge's figure. The appeal should be dismissed for the following reasons.

The lease

[6] The lease was executed on 23 December 1996. It was for a term of 10 years commencing on 1 February 1997. An option to renew for five years until 2012 was exercised: the new lease began on 1 February 2006 and will expire on 31 January 2012. There is a further option to renew for five years until 2017.

[7] By cl 2.13, the Tenant covenanted:

> Not without the written approval of the Landlord first obtained (which consent shall not be unreasonably withheld or delayed) to make or permit to be made any substantial alteration or addition to the Demised Premises.

The Tenant also covenanted, by cl 2.10, to keep the premises in repair; by cl 2.11, to yield up the premises on the determination of the lease in good repair; and, by cl 2.12.4, to make good any breakage or damage.

The trial judge

[8] The trial judge held that it would be appropriate to award damages for breach of cl 2.13 based on reinstatement costs only "in a relatively narrow range of cases where a tenant has so damaged or modified premises that they are unlettable at the conclusion [of] the lease". In this regard he

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referred to *Joyner v Week* [1891] 2 QB 31 a case not cited by the parties. He went on to say that normally, however, "reinstatement costs will not be awarded unless there exists some special interest in reinstatement arising from a radical change to the usage to which the property can be put following renovations by the tenant". He then accepted expert evidence to the effect that whether the lease was to end in 2012 or 2017, the Tenant's changes to the foyer would occasion very little diminution in the value of the building. Accordingly he awarded only $34,820 in damages.

The Full Court

[9] According to Rares J, the arguments of the Landlord in the Full Court "were radically different from those which the Court identified and upon which the [Landlord] ultimately succeeded". The majority of the Full Court (Finkelstein and Gordon JJ) held:

> There can be no meaningful distinction between a full repair covenant and clause 2.13, at least as regards the extent to which the clause prohibits alterations or additions without approval. This is because relevantly the obligations are the same. Accordingly damages for breach of clause 2.13 are to be assessed on the same basis as for breach of a repair covenant.

They therefore saw as applicable authorities on repair covenants, of which they described cl 2.10 as an example. And they considered that the authorities on repair covenants held that the general rule for assessing damages for breach of a covenant by a lessee to deliver up the demised premises in repair is the cost of putting the premises into the state of repair required by the covenant. They described this rule as the rule in *Joyner v Weeks*. In examining whether the particular circumstances of the case should cause that "prima facie method" of calculating loss to be displaced, they said that but for a special condition in Heads of Agreement made on 15 May 2006, it would have been appropriate to take into account the fact of the renewal of the lease in 2007, the possibility that it might not end until 2017 and the lack of damage to the reversion, and thus uphold the trial judge's conclusion. But they said:

> [I]n this case the new lease and its consequences on possession must be left out of account because that is what the special condition requires. This means that damages must be assessed in an artificial environment — a notional world in which the lease expired by effluxion of time on 31 January 2007.

Hence they held that the Tenant had failed to displace the "prima facie method". Thus the majority awarded damages of $1.38m, based on the cost of reinstatement approach.

[10] Rares J took a different approach. He said that cll 2.10-2.12 "ensured that if structural alterations were made in breach of cl 2.13, the tenant had to make good its unauthorised changes when the term came to an end." For that reason, and applying *Joyner v Weeks*, he held that the correct basis for damages was the cost of reinstatement, not diminution in value of the land, but he would have allowed the parties to address further on relief.

The Tenant's complaints

[11] The Tenant made numerous complaints about the reasoning of the Full Court. It is convenient to put them on one side for the moment, because there is one short ground on which the Full Court's orders are plainly to be supported. It was not a ground squarely relied upon below, but it was explicitly raised by members of the bench in this Court and evidence could not have been given at the trial which by any possibility could have prevented the point from succeeding.

The role of cl 2.13

[12] At trial, the Landlord's only claim for damages for breach of contract was based on an alleged breach of cl 2.13. Accordingly, damages are to be assessed on that basis. Clause 2.13 is an express negative covenant. It serves a function of considerable practical utility in relation to the Landlord's capacity to protect its legitimate interest in preserving the physical character of the premises leased. That function is: provided the Landlord learned of a threat to make a substantial alteration to the premises without its written consent, a speedy application could be made for an interlocutory negative injunction, an appeal could be made to the modern understanding of the principles classically stated

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by Lord Cairns LC in *Doherty v Allman* (1878) 3 App Cas 709 at 2, and the status quo could readily be preserved. The clandestine conduct of the Tenant made it impossible for the Landlord to apply for an interlocutory negative injunction, but that does not detract from that aspect of cl 2.13 in assessing damages for its breach.

[13] Underlying the Tenant's submission that the appropriate measure of damages was the diminution in value of the reversion was an assumption that anyone who enters into a contract is at complete liberty to break it provided damages adequate to compensate the innocent party are paid. It is an assumption which at least one distinguished mind has shared. It has been dignified as "the doctrine of efficient breach". It led, in the Landlord's submission, to an attempt "arrogantly [to] impose a form of 'economic rationalism'" on the unwilling Landlord. The assumption underlying the Tenant's submission takes no account of the existence of equitable remedies, like decrees of specific performance and injunction, which ensure or encourage the performance of contracts rather than the payment of damages for breach. It is an assumption which underrates the extent to which those remedies are available. However, even if the assumption were correct it would not assist the Tenant. The Tenant's submission misunderstands the common law in relation to damages for breach of contract. The "ruling principle", confirmed in this Court on numerous occasions, with respect to damages at common law for breach of contract is that stated by Parke B in *Robinson v Harman* [1848] EngR 135; (1848) 1 Exch 850 at 855; 154 ER 363 at 365:

> The rule of the common law is, that where a party sustains a loss by reason of a breach of contract, he is, so far as money can do it, to be placed in the same situation, with respect to damages, as if the contract had been performed.

Oliver J was correct to say in *Radford v De Froberville* (1848) 1 Exch 850 at 855; 154 ER 363 at 365 that the words "the same situation, with respect to damages, as if the contract had been performed" do not mean "as good a *financial* position as if the contract had been performed" (emphasis added). In some circumstances putting the innocent party into "the same situation … as if the contract had been performed" will coincide with placing the party into the same financial situation. Thus, in the case of the supply of defective goods, the prima facie measure of damages is the difference in value between the contract goods and the goods supplied. But as Staughton LJ explained in *Ruxley Electronics Ltd v Forsyth* [1994] 1 WLR 650 at 655; [1994] 3 All ER 801 at 806 such a measure of damages seeks only to reflect the financial consequences of a notional transaction whereby the buyer sells the defective goods on the market and purchases the contract goods. The buyer is thus placed in the "same situation … as if the contract had been performed", with the loss being the difference in market value. However, in cases where the contract is not for the sale of marketable commodities, selling the defective item and purchasing an item corresponding with the contract is not possible. In such cases, diminution in value damages will not restore the innocent party to the "same situation … as if the contract had been performed".

[14] In circumstances like the present, where the relevant covenant is in the form of cl 2.13, it is not the case that, in Oliver J's words [1977] 1 WLR 1262 at 1273; [1978] 1 All ER 33 at 44:

> the disappointment of the plaintiff's hopes and expectations from the contract becomes a relevant consideration only so far as it is measurable either by some deterioration of the plaintiff's financial situation or by some failure to obtain an amelioration of his financial situation.

To reason otherwise is to undermine a fundamental postulate inherent in cl 2.13.

[15] Similar thinking underlies a statement made by Dixon CJ, Webb and Taylor JJ in *Bellgrove v Eldridge*. A builder who had built a house which, in breach of contract, contained defective concrete and mortar, contended that the measure of damages was limited to diminution in value and did not extend to costs of rectification. Their Honours said (1954) 90 CLR 613 at 617 (emphasis in original):

> In the present case, the respondent was entitled to have a building erected *upon her land* in accordance with the contract and the plans and specifications which formed part of it, and

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> her damage is the loss which she has sustained by the failure of the appellant to perform his obligation to her. This loss cannot be measured by comparing the value of the building which has been erected with the value it would have borne if erected in accordance with the contract; her loss can, prima facie, be measured only by ascertaining the amount required to rectify the defects complained of and so give to her the equivalent of a building on her land which is substantially in accordance with the contract.

So here, the Landlord was contractually entitled to the preservation of the premises without alterations not consented to; its measure of damages is the loss sustained by the failure of the Tenant to perform that obligation; and that loss is the cost of restoring the premises to the condition in which they would have been if the obligation had not been breached.

[16] The Tenant relied heavily on findings by the trial judge that the Landlord had erected and leased the building for commercial purposes and that it was an investment property. The Tenant contended that the Landlord had never run a case that it valued the foyer for its aesthetic qualities as distinct from its having "pulling power" as a "leasing tool", and it relied on the trial judge's implicit finding, based on the resolution of conflicting expert evidence, that the old foyer was no more effective as a leasing tool than the new foyer. The answer to these submissions was put thus by Oliver J in *Radford v De Froberville* [1977] 1 WLR 1262 at 1270; [1978] 1 All ER 33 at 42:

> Now, it may be that, viewed objectively, it is not to the plaintiff's financial advantage to be supplied with the article or service which he has stipulated. It may be that another person might say that what the plaintiff has stipulated for will not serve his commercial interests so well as some other scheme or course of action. And that may be quite right. But that, surely, must be for the plaintiff to judge. Pacta sunt servanda. If he contracts for the supply of that which he thinks serves his interests — be they commercial, aesthetic or merely eccentric — then if that which is contracted for is not supplied by the other contracting party I do not see why, in principle, he should not be compensated by being provided with the cost of supplying it through someone else or in a different way, subject to the proviso, of course, that he is seeking compensation for a genuine loss and not merely using a technical breach to secure an uncovenanted profit.

In *Ruxley Electronics and Construction Ltd v Forsyth* the latter half of the passage was quoted with approval by Lord Jauncey of Tullichettle [1996] AC 344 at 358 (Lords Keith of Kinkel and Bridge of Harwich concurring) and the passage was referred to with approval by Lord Mustill [1996] 1 AC 344 at 360 (Lords Keith of Kinkel and Bridge of Harwich concurring).

[17] The Tenant stressed that in *Bellgrove v Eldridge* this Court pointed out that there was a qualification to the rule it stated in regard to damages recoverable by a building owner for the breach of a building contract. "The qualification … is that, not only must the work undertaken be necessary to produce conformity, but that also, it must be a reasonable course to adopt." (1954) 90 CLR 613 at 618 The example which the Court gave of unreasonableness was the following (1954) 90 CLR 613 at 618:

> No one would doubt that where pursuant to a building contract calling for the erection of a house with cement rendered external walls of second-hand bricks, the builder has constructed the walls of new bricks of first quality the owner would not be entitled to the cost of demolishing the walls and re-erecting them in second-hand bricks.

That tends to indicate that the test of "unreasonableness" is only to be satisfied by fairly exceptional circumstances. The example given by the Court aligns closely with what Oliver J said in *Radford v De Froberville*, that is, that the diminution in value measure of damages will only apply where the innocent party is "merely using a technical breach to secure an uncovenanted profit". It is also important to note that the "reasonableness" exception was not found to exist in *Bellgrove v Eldridge*. Nothing in the reasoning in that case suggested that where the reasoning is applied to the present circumstances, the course which the Landlord proposed is unnecessary or unreasonable.

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[18] As part of the same submission, the Tenant relied on *Ruxley Electronics and Construction Ltd v Forsyth* [1996] AC 344. The House of Lords there held in a building case that where the expenditure necessary to rectify the defect in the building was out of all proportion to the benefit to be obtained the appropriate measure of damages was not the cost of reinstatement but the diminution in the value of the work occasioned by the breach, even if that would result in a nominal award. The House rejected a claim for £21,560 damages for reconstructing a swimming pool that was 1 foot 6 inches too shallow. The House saw the following matters as indicating that the cost of reconstruction was not recoverable [1996] 1 AC 344 at 354-355 per Lord Jauncey of Tullichettle:

> The trial judge made the following findings which are relevant to this appeal: (1) the pool as constructed was perfectly safe to dive into; (2) there was no evidence that the shortfall in depth had decreased the value of the pool; (3) the only practicable method of achieving a pool of the required depth would be to demolish the existing pool and reconstruct a new one at a cost of £21,560; (4) he was not satisfied that the respondent intended to build a new pool at such a cost; (5) in addition such cost would be wholly disproportionate to the disadvantage of having a pool of a depth of only 6 feet as opposed to 7 feet 6 inches and it would therefore be unreasonable to carry out the works; and (6) that the respondent was entitled to damages for loss of amenity in the sum of £2,500.

Their Lordships quoted and referred to various passages in *Bellgrove v Eldridge* and *Radford v De Froberville* without dissent. Although they reversed the Court of Appeal, in which the leading judgment, that of Staughton LJ (*Ruxley Electronics & Construction Ltd v Forsyth* [1994] 1 WLR 650; [1994] 3 All ER 801), quoted various passages from *Radford v De Froberville* (including the last sentence of the one set out above at [16]), they did not disagree with what those cases said as a matter of principle, and seemed to consider that their decision was consistent with the principles stated by Oliver J. The result at which their Lordships arrived is on one view inconsistent with those principles, but for present purposes it is sufficient to say that the facts of *Ruxley Electronics and Construction Ltd v Forsyth*, which their Lordships evidently saw as quite exceptional, are plainly distinguishable from those of the present appeal.

[19] Further, the Landlord correctly submitted that the Tenant's submission misconstrued what this Court said in *Bellgrove v Eldridge*. The "qualification" referred to in the passage quoted above (see [17]) that the "work undertaken be necessary to produce conformity" meant, in that case, apt to conform with the plans and specifications which had not been conformed with. Applied to this case, the expression "necessary to produce conformity" means "apt to bring about conformity between the foyer as it would become after the damages had been spent in rebuilding it and the foyer as it was at the start of the lease". And the Landlord also correctly submitted that the requirement of reasonableness did not mean that any excess over the amount recoverable on a diminution in value was unreasonable. The Tenant's submissions rested on a loose principle of "reasonableness" which would radically undercut the bargain which the innocent party had contracted for and make it very difficult to determine in any particular case on what basis damages would be assessed. That principle should not be accepted.

[20] If the benefit of the covenant in cl 2.13 were to be secured to the Landlord, it is necessary that reinstatement damages be paid, and it is not unreasonable for the Landlord to insist on their payment.

[21] For these reasons the orders of the Full Court are upheld. It is thus not necessary either to set out, or to consider the merits of, the Tenant's complaints, because those complaints do not touch upon the validity of these reasons. It is desirable, however, to note briefly three matters which arose in argument.

The Landlord's case under Lord Cairns' Act (*Not pursued*) …

Betterment discount?

[24] In theory, if the Landlord employs the damages (with interest earned) after the lease expires in 2012 or 2017 on rebuilding the foyer, it would be better off than it would have been if cl 2.13 had

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not been breached. If it had not been breached, the Landlord would have retaken possession of the foyer which had been subjected to 15 or 20 years' wear and tear so that, as the trial judge found, the foyer would probably have to be refurbished.

[25] Had the Tenant requested a discount in the damages awarded against it to take account of this "betterment" problem, its application, if backed by appropriate evidence, may have had merit. But although the matter was raised by the Landlord below, the Tenant made no such application at any of the three levels of hearing: its position was that no reinstatement damages were awardable, and it did not contend that if any were awardable they should be discounted to allow for betterment. Accordingly nothing more need be said on the subject.

Date of assessment of damages

[26] Any reinstatement of the foyer by the Landlord would not take place until 2012 or 2017. Sometimes when damages are awarded in relation to loss arising from the need to spend money in future or from the suffering of a future incapacity, they are awarded on the basis of an estimate as to the amount required at a future date, and discounted down to present value, leaving the plaintiff to invest the damages and employ the increased sum at a future date. A second approach is to assess damages for breach of covenant as at the date of breach. In that event it would be normal to order that the damages carry interest from the date of breach. In this case a third approach was adopted. The damages figures selected by the Full Court were based on the Landlord's claim. The precise quantum of that claim was uncontroversial once reinstatement was accepted as the basis. The claim does not appear to have been based on 1997 costs, but on costs around the time of the trial, partly 2004 costs and partly 2006 costs. In other cases there may be controversies in relation to the date of assessment. But in the circumstances of this case, the potential difficulties can be put aside because the Tenant took no point about them in relation to the claim for damages at common law for breach of cl 2.13.

Orders

[22] The appeal must be dismissed with costs.

RELIANCE DAMAGES

[26.135] In cases where a plaintiff is unable to prove the value of the benefit, he or she expected to gain from performance of the contract, courts have held that the plaintiff may instead be able to recover damages compensating the plaintiff for expenditure incurred in reasonable reliance on the contract being performed. This measure of damages is discussed and illustrated in *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377 and *Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64, extracted at [26.15].

DAMAGES FOR LOSS OF A CHANCE

[26.140] Courts have been prepared to award damages compensating a plaintiff for the loss of a chance or an opportunity of obtaining a benefit. The reason for such an award is that even a chance may be of value. Damages for loss of a chance are discussed in *Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64, extracted at [26.15]. The award is illustrated in *Howe v Teefy* (1927) 27 SR (NSW) 301.

Howe v Teefy

[26.145] *Howe v Teefy* (1927) 27 SR (NSW) 301 (Supreme Court of New South Wales Full Court).

[FACTS: The *defendant* leased a racehorse to the *plaintiff*, who was a trainer, for a period of three years. After about three months, the defendant removed the horse from the plaintiff without justification. The plaintiff brought an action for, inter alia, breach of contract. The plaintiff claimed damages for the loss of opportunity to win prizes with the horse, to win bets placed by himself on the horse and to make profits from supplying information to other people. The jury awarded the plaintiff £250 in damages. The defendant appealed.]

STREET CJ: [304] This appeal is brought upon the ground that [the jury] should have been directed (1) that the prospective winnings of the plaintiff from bets and stable commissions were too remote and too contingent to be recovered as damages, and (2) that there was no evidence on which they could assess any such winnings and that only nominal damages should have been awarded.

Assuming that the damages claimed are capable of assessment, I do not think that it can be said that they are too remote. The determination of that question depends upon whether they were within the contemplation of both parties, that is whether both parties were aware of the circumstances with a view to which the plaintiff was leasing the horse. The sole object of the agreement was to give him a chance of making money by training and racing the horse, and what is complained of is that it was taken from him and that he was deprived of that chance. Nor does the fact that his opportunities of making money depended upon contingencies, including the volition of other people, suffice to render the damages for the defendant's breach of contract incapable of assessment. That was definitely decided by the Court of Appeal in *Chaplin v Hicks* ([1911] 2 KB 786). In that case the facts were that the defendant initiated a competition in a newspaper, by means of which [305] twelve women were to be selected out of those who sent in their photographs for the purpose of competing, and were to be given theatrical engagements. A large number of women, including the plaintiff, sent in their photographs, and, as the result of the system of voting adopted, she became one of fifty left in from among whom the defendant was to make his selection of the twelve who were to receive the promised appointments. The defendant wrote to her asking her to call and see him at a specified time, but the letter reached her too late to enable her to do so. She was not one of those selected, and she brought an action to recover damages on the ground that by reason of the defendant's breach of contract she had lost the chance of selection for an engagement. The jury found that he did not take reasonable means to give her an opportunity of presenting herself for selection, and assessed the damages at £100. Fletcher Moulton, LJ (as he then was) said (at 793, 794)

> Mr McCardie does not deny that there is a contract, nor that its terms [are] as the plaintiff alleges them to be, nor that it is enforceable, but he contends that the plaintiff can only recover nominal damages, say one shilling. To start with he puts it thus: where the expectation of the plaintiff depends on a contingency, only nominal damages are recoverable. Upon examination, this principle is obviously much too wide; everything that can happen in the future depends on a contingency, and such a principle would deprive a plaintiff of anything beyond nominal damages for a breach of contract where the damages could not be assessed with mathematical accuracy …

[306] The presence of contingencies, then, even when the volition of a third person comes into the matter, does not render the damages incapable of assessment though it may make the calculation of the pecuniary loss sustained incapable of being carried out with certainty or precision. The question in every case is has there been any actual loss resulting from the breach of contract complained of. There may be cases where it would be impossible to say that any assessable loss had resulted from a breach of contract, but, short of that, if a plaintiff has been deprived of something which has a monetary value, a jury is not relieved from the duty of assessing the loss merely because the calculation is a difficult one or because the circumstances do not admit of the damages being assessed with certainty. In *Chaplin v Hicks* (ante) Vaughan Williams LJ, speaking of the rule as to the measure of damages in the case of a breach of a contract for the delivery of goods, said (at 792):

Howe v Teefy cont.

> Sometimes, however, there is no market for the particular class of goods; but no one has ever suggested that, because there is no market, there are no damages. In such a case the jury must do the best they can, and it may be that the amount of their verdict will really be a matter of guesswork. But the fact that damages cannot be assessed with certainty does not relieve the wrongdoer of the necessity of paying damages for his breach of contract.

and Fletcher Moulton LJ, said (at 795)

I think that, where it is clear that there has been actual loss resulting from the breach of contract, which it is difficult to estimate in money, it is for the jury to do their best to estimate: it is not necessary that there should be an absolute measure of damages in each case. There are no doubt well settled rules as to the measure of damages in certain cases, but such accepted rules are only applicable where the breach is one that frequently occurs.

The test in every case is, as I say, whether the plaintiff was possessed of something which had a monetary value, and of which he was deprived by the defendant's breach of contract. In *Chaplin v Hicks* it was held that the right which the plaintiff had to belong to the limited class of competitors – the [307] fifty from whom the final twelve were to be drawn – was something of value, and that it was for the jury to estimate the pecuniary value of the loss which she had sustained in being deprived of that right. "It is true" said Vaughan Williams LJ (at 793) "that no market can be said to exist. None of the fifty competitors could have gone into the market and sold her right; her right was a personal right and incapable of transfer. But a jury might well take the view that such a right, if it could have been transferred, would have been of such value that everyone would recognise that a good price could be obtained for it."

In the present case the question is whether the plaintiff, by having the horse wrongfully taken out of his possession sustained any loss which had a monetary value and which he was entitled to have estimated by a jury. I think that it is clear that he was deprived of something which was of value. The injury which he sustained was the deprivation of his right under his agreement to train and race the horse, and make what profit he could out of doing so. Can it be said that that was a right which had no monetary value, and which no one would give money to possess? In *Chaplin v Hicks* the plaintiff had paid nothing to become a competitor, but she recovered damages for the breach of contract complained of. In this case the plaintiff agreed to pay a substantial price under his contract for the right to the advantages to be got from training and racing the horse, and he was afterwards deprived of his right by the defendant's breach of contract. How can it be said then that that right was incapable of estimation in money, and that the assessment of damages was not a matter for the jury? The calculation which they had to make was not how much he would probably have made in the shape of profit out of his use of the horse, but how much his chance of making that profit, by having the use of the horse, was worth in money. He was willing to pay for the right when he entered into the agreement, and, though the subsequent failure of the horse to win races was an element to be taken into consideration in calculating the value of the chance or right of which he was deprived, I do not think that it can be said that in being deprived of that right he did not suffer an injury which was capable of being calcu[308]lated in money. I think that he did, and I think that the jury's award cannot be interfered with.

Appeal dismissed.

[26.150] Note

Damages for loss of a chance may also be awarded for the loss of a commercial opportunity. See, for example, *Schilling v Kidd Garrett Ltd* [1977] 1 NZLR 243 (loss of opportunities in relation to an agency for the sale of imported goods); *Sellars v Adelaide Petroleum NL*

(1994) 179 CLR 332 (loss of a commercial opportunity to bargain), extracted at [33.190]; *Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64, extracted at [26.15].

GAINS-BASED DAMAGES

[26.155] There is considerable academic debate about the possibility of awarding damages which, rather than compensating the plaintiff, are based on the gain made by the defendant in breaching the contract. There are two kinds of gains-based damages: *restitutionary* damages and *disgorgement* or *account of profit* damages. Neither category of damages has been recognised in Australia. They are established in England, although the line of cases that previously were commonly treated as involving restitutionary damages have recently been characterised by the Supreme Court as based on a category of compensationary damages, described as *user* or negotiation damages: see *One Step (Support) Ltd v Morris-Garner* [2018] UKSC 20; [2018] 2 WLR 1353; *Prudential Assurance Co Ltd v Revenue and Customs Commissioners* [2018] UKSC 39; [2018] 3 WLR 652; *Lloyd v Google LLC* [2018] EWHC 2599 (QB).

Disgorgement damages require the defendant to account for any profit made by reason of his or her breach (see further Edelman, *Gain-Based Damages: Contract, Tort, Equity and Intellectual Property* (Hart Publishing, Oxford, 2002); Barnett, *Accounting for Profit for Breach of Contract: Theory and Practice* (Hart Publishing, Oxford, 2012)). The following extracts illustrate the different responses to these measures of damages taken in England by the House of Lords and in Australia by the Federal Court.

Attorney-General v Blake

[26.160] *Attorney-General v Blake* [2001] 1 AC 268 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: The defendant, *Blake*, was a former member of the Secret Intelligence Service (SIS). In 1944, Blake signed an undertaking not to divulge any official information gained as a result of his employment. Between 1951 and 1960, he disclosed valuable secret information to the Soviet Union.

In 1961, Blake was convicted of spying and sentenced to 42 years' imprisonment, but in 1966 he escaped and went to live in Moscow. In 1989, Blake wrote an autobiography, substantial parts of which were based on information he had acquired in the course of his duties as an SIS officer. By s 1(1) of the *Official Secrets Act 1989* (UK), it was an offence for a person who had been a member of the intelligence services without lawful authority to disclose any information relating to intelligence which was in his possession by virtue of his position as a member of those services. Blake entered into a publishing contract with a publisher under which he was to receive an advance of £50,000, a further £50,000 on delivery of the final manuscript and £50,000 on publication. The Crown had no knowledge of the book until its publication was announced in the press. After Blake had already received some £60,000, the Attorney-General brought a private law action against Blake, claiming damages for breach of fiduciary duty and payment of all moneys received and to be received by him from the publisher.

The trial judge dismissed the action on the grounds that the lifelong duty owed by members of the security services not to disclose secret or confidential information acquired during the course of their employment did not extend to information no longer secret or confidential and the disclosure of which would not damage the national interest, that Blake had not expressly contracted not to publish any information relating to the intelligence service without the Crown's prior approval, nor could such an equitable obligation be implied, and that the breaches of s 1(1) of the *1989 Act* did not

Attorney-General v Blake cont.

establish any breach of duty under the civil law for which the civil remedies sought could be claimed. The Attorney-General appealed, raising issues of public law and claiming an injunction to restrain the defendant from receiving any payment or other benefit resulting from his criminal conduct. The Court of Appeal dismissed the appeal on the private law issues. The Court held that while Blake was in breach of the undertaking he signed when he joined the service of the Crown and therefore in breach of contract, since the Crown could not establish loss, it was entitled to no more than nominal damages. The Court of Appeal allowed the appeal on the public law issues.

Blake appealed to the House of Lords. (Blake did not personally appear in court but was represented by counsel and solicitors acting pro bono.) The House of Lords held that the Court of Appeal had acted outside its jurisdiction in granting the injunction on public law grounds.]
LORD NICHOLLS OF BIRKENHEAD:

The private law claim

… [277] On 16 August 1944 Blake signed an *Official Secrets Act* declaration. This declaration included an undertaking:

> … I undertake not to divulge any official information gained by me as a result of my employment, either in the press or in book form. I also understand that these provisions apply not only during the period of service but also after employment has ceased.

This undertaking was contractually binding. Had Blake not signed it he would not have been employed. By submitting his manuscript for publication without first obtaining clearance Blake committed a breach of this undertaking. The Court of Appeal suggested that the Crown might have a private law claim to "restitutionary damages for breach of contract", and invited submissions on this issue. The Attorney-General decided that the Crown did not wish to advance argument on this point in the Court of Appeal. The Attorney-General, however, wished to keep the point open for a higher court. The Court of Appeal expressed the view, necessarily tentative in the circumstances, that the law of contract would be seriously defective if the court were unable to award restitutionary damages for breach of contract. The law is now sufficiently mature to recognise a restitutionary claim for profits made from a breach of contract in appropriate situations. These include cases of "skimped" performance, and cases where the defendant obtained his profit by doing "the very thing" he contracted not to do. The present case fell into the latter category: Blake earned his profit by doing the very thing he had promised not to do.

This matter was pursued in your Lordships' House. Prompted by an invitation from your Lordships, the Attorney-General advanced an argument that restitutionary principles ought to operate to enable the Crown to recover from Blake his profits arising from his breach of contract. It will be convenient to consider this private law claim first.

This is a subject on which there is a surprising dearth of judicial decision. By way of contrast, over the last 20 years there has been no lack of academic writing. This includes valuable comment on the Court of Appeal dicta in the [278] present case: by Janet O'Sullivan, *Reflections on the Role of Restitutionary Damages to Protect Contractual Expectations* (to be published), and Catherine Mitchell, "Remedial Inadequacy in Contract and the Role of Restitutionary Damages" (1999) 15 JCL 133. Most writers have favoured the view that in some circumstances the innocent party to a breach of contract should be able to compel the defendant to disgorge the profits he obtained from his breach of contract. However, there is a noticeable absence of any consensus on what are the circumstances in which this remedy should be available. Professor Burrows has described this as a devilishly difficult topic: see "No Restitutionary Damages for Breach of Contract" [1993] LMCLQ 453. The broad proposition that a wrongdoer should not be allowed to profit from his wrong has an obvious attraction. The corollary is that the person wronged may recover the amount of this profit when he has suffered no financially measurable loss. As Glidewell LJ observed in *Halifax Building Society v Thomas* [1996] Ch 217, 229, the corollary is not so obviously persuasive. In these choppy waters the common law and equity steered different courses. The effects of this are still being felt …

Attorney-General v Blake cont.

Breach of contract

[26.165] [282] Against this background I turn to consider the remedies available for breaches of contract. The basic remedy is an award of damages. In the much quoted words of Baron Parke, the rule of the common law is that where a party sustains a loss by reason of a breach of contract, he is, so far as money can do it, to be placed in the same position as if the contract had been performed: *Robinson v Harman* (1848) 1 Exch 850, 855. Leaving aside the anomalous exception of punitive damages, damages are compensatory. That is axiomatic. It is equally well established that an award of damages, assessed by reference to financial loss, is not always "adequate" as a remedy for a breach of contract. The law recognises that a party to a contract may have an interest in performance which is not readily measurable in terms of money. On breach the innocent party suffers a loss. He fails to obtain the benefit promised by the other party to the contract. To him the loss may be as important as financially measurable loss, or more so. An award of damages, assessed by reference to financial loss, will not recompense him properly. For him a financially assessed measure of damages is inadequate.

The classic example of this type of case, as every law student knows, is a contract for the sale of land. The buyer of a house may be attracted by features which have little or no impact on the value of the house. An award of damages, based on strictly financial criteria, would fail to recompense a disappointed buyer for this head of loss. The primary response of the law to this type of case is to ensure, if possible, that the contract is performed in accordance with its terms. The court may make orders compelling the party who has committed a breach of contract, or is threatening to do so, to carry out his contractual obligations. To this end the court has wide powers to grant injunctive relief. The court will, for instance, readily make orders for the specific performance of contracts for the sale of land, and sometimes it will do so in respect of contracts for the sale of goods. In *Beswick v Beswick* [1968] AC 58 the court made an order for the specific performance of a contract to make payments of money to a third party. The law recognised that the innocent party to the breach of contract had a legitimate interest in having the contract performed even though he himself would suffer no financial loss from its breach. Likewise, the court will compel the observance of negative obligations by granting injunctions. This may include a mandatory order to undo an existing breach, as where the court orders the defendant to pull down building works carried out in breach of covenant.

All this is trite law. In practice, these specific remedies go a long way towards providing suitable protection for innocent parties who will suffer loss from breaches of contract which are not adequately remediable by an award of damages. But these remedies are not always available. For instance, confidential information may be published in breach of a non-disclosure agreement before the innocent party has time to apply to the court for urgent relief. Then the breach is irreversible. Further, these specific remedies are discretionary. Contractual obligations vary infinitely. So do the circumstances in which breaches occur, and the circumstances in which remedies are sought. The court may, for instance, decline to grant specific relief on the ground that this would be oppressive.

An instance of this nature occurred in *Wrotham Park Estate Co Ltd v Parkside Homes Ltd* [1974] 1 WLR 798. For social and economic reasons the court refused to make a mandatory order for the demolition of houses [283] built on land burdened with a restrictive covenant. Instead, Brightman J made an award of damages under the jurisdiction which originated with *Lord Cairns's Act*. The existence of the new houses did not diminish the value of the benefited land by one farthing. The judge considered that if the plaintiffs were given a nominal sum, or no sum, justice would manifestly not have been done. He assessed the damages at 5% of the developer's anticipated profit, this being the amount of money which could reasonably have been demanded for a relaxation of the covenant. In reaching his conclusion the judge applied by analogy the cases mentioned above concerning the assessment of damages when a defendant has invaded another's property rights but without diminishing the value of the property. I consider he was right to do so. Property rights are superior to contractual rights in that, unlike contractual rights, property rights may survive against an indefinite class of persons. However, it is not easy to see why, as between the parties to a contract, a violation of a party's contractual rights should attract a lesser degree of remedy than a violation of his property rights. As Lionel D Smith has

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pointed out in his article "Disgorgement of the Profits of Breach of Contract: Property, Contract and 'Efficient Breach'" (1995) 24 Can BLJ 121, it is not clear why it should be any more permissible to expropriate personal rights than it is permissible to expropriate property rights.

I turn to the decision of the Court of Appeal in *Surrey County Council v Bredero Homes Ltd* [1993] 1 WLR 1361. A local authority had sold surplus land to a developer and obtained a covenant that the developer would develop the land in accordance with an existing planning permission. The sole purpose of the local authority in imposing the covenant was to enable it to share in the planning gain if, as happened, planning permission was subsequently granted for the erection of a larger number of houses. The purpose was that the developer would have to apply and pay for a relaxation of the covenant if it wanted to build more houses. In breach of covenant the developer completed the development in accordance with the later planning permission, and the local authority brought a claim for damages. The erection of the larger number of houses had not caused any financial loss to the local authority. The judge awarded nominal damages of £2, and the Court of Appeal dismissed the local authority's appeal. This is a difficult decision. It has attracted criticism from academic commentators and also in judgments of Sir Thomas Bingham MR and Millett LJ in *Jaggard v Sawyer* [1995] 1 WLR 269. I need not pursue the detailed criticisms. In the Bredero case Dillon LJ himself noted, at p 1364, that had the covenant been worded differently, there could have been provision for payment of an increased price if a further planning permission were forthcoming. That would have been enforceable. But, according to the *Bredero* decision, a covenant not to erect any further houses without permission, intended to achieve the same result, may be breached with impunity. That would be a sorry reflection on the law. Suffice to say, in so far as the *Bredero* decision is inconsistent with the approach adopted in the *Wrotham Park* case, the latter approach is to be preferred.

The *Wrotham Park* case, therefore, still shines, rather as a solitary beacon, showing that in contract as well as tort damages are not always narrowly confined to recoupment of financial loss. In a suitable case damages for breach of contract may be measured by the benefit gained by the [284] wrongdoer from the breach. The defendant must make a reasonable payment in respect of the benefit he has gained. In the present case the Crown seeks to go further. The claim is for all the profits of Blake's book which the publisher has not yet paid him. This raises the question whether an account of profits can ever be given as a remedy for breach of contract. The researches of counsel have been unable to discover any case where the court has made such an order on a claim for breach of contract. In *Tito v Waddell (No 2)* [1977] Ch 106, 332, a decision which has proved controversial, Sir Robert Megarry V-C said that, as a matter of fundamental principle, the question of damages was "not one of making the defendant disgorge" his gains, in that case what he had saved by committing the wrong, but "one of compensating the plaintiff". In *Occidental Worldwide Investment Corporation v Skibs A/S Avanti* [1976] 1 Lloyd's Rep 293, 337, Kerr J summarily rejected a claim for an account of profits when ship owners withdrew ships on a rising market.

There is a light sprinkling of cases where courts have made orders having the same effect as an order for an account of profits, but the courts seem always to have attached a different label. A person who, in breach of contract, sells land twice over must surrender his profits on the second sale to the original buyer. Since courts regularly make orders for the specific performance of contracts for the sale of land, a seller of land is, to an extent, regarded as holding the land on trust for the buyer: *Lake v Bayliss* [1974] 1 WLR 1073. In *Reid-Newfoundland Co v Anglo-American Telegraph Co Ltd* [1912] AC 555 a railway company agreed not to transmit any commercial messages over a particular telegraph wire except for the benefit and account of the telegraph company. The Privy Council held that the railway company was liable to account as a trustee for the profits it wrongfully made from its use of the wire for commercial purposes. In *British Motor Trade Association v Gilbert* [1951] 2 All ER 641 the plaintiff suffered no financial loss but the award of damages for breach of contract effectively stripped the wrongdoer of the profit he had made from his wrongful venture into the black market for new cars.

These cases illustrate that circumstances do arise when the just response to a breach of contract is that the wrongdoer should not be permitted to retain any profit from the breach. In these cases the courts have reached the desired result by straining existing concepts. Professor Peter Birks has deplored

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the "failure of jurisprudence when the law is forced into this kind of abusive instrumentalism"; see "Profits of Breach of Contract" (1993) 109 LQR 518, 520. Some years ago Professor Dawson suggested there is no inherent reason why the technique of equity courts in land contracts should not be more widely employed, not by granting remedies as the by-product of a phantom "trust" created by the contract, but as an alternative form of money judgment remedy. That well known ailment of lawyers, a hardening of the categories, ought not to be an obstacle: see "Restitution or Damages" (1959) 20 Ohio SLJ 175. My conclusion is that there seems to be no reason, in principle, why the court must in all circumstances rule out an account of profits as a remedy for breach of contract. I prefer to avoid the unhappy expression "restitutionary damages". Remedies are the law's response to a wrong (or, more precisely, to a cause of action). When, exceptionally, a just response to a breach of contract so requires, the court should be able to grant the discretionary [285] remedy of requiring a defendant to account to the plaintiff for the benefits he has received from his breach of contract. In the same way as a plaintiff's interest in performance of a contract may render it just and equitable for the court to make an order for specific performance or grant an injunction, so the plaintiff's interest in performance may make it just and equitable that the defendant should retain no benefit from his breach of contract. The state of the authorities encourages me to reach this conclusion, rather than the reverse.

The law recognises that damages are not always a sufficient remedy for breach of contract. This is the foundation of the court's jurisdiction to grant the remedies of specific performance and injunction. Even when awarding damages, the law does not adhere slavishly to the concept of compensation for financially measurable loss. When the circumstances require, damages are measured by reference to the benefit obtained by the wrongdoer. This applies to interference with property rights. Recently, the like approach has been adopted to breach of contract. Further, in certain circumstances an account of profits is ordered in preference to an award of damages. Sometimes the injured party is given the choice: either compensatory damages or an account of the wrongdoer's profits. Breach of confidence is an instance of this. If confidential information is wrongfully divulged in breach of a non-disclosure agreement, it would be nothing short of sophistry to say that an account of profits may be ordered in respect of the equitable wrong but not in respect of the breach of contract which governs the relationship between the parties. With the established authorities going thus far, I consider it would be only a modest step for the law to recognise openly that, exceptionally, an account of profits may be the most appropriate remedy for breach of contract. It is not as though this step would contradict some recognised principle applied consistently throughout the law to the grant or withholding of the remedy of an account of profits. No such principle is discernible.

The main argument against the availability of an account of profits as a remedy for breach of contract is that the circumstances where this remedy may be granted will be uncertain. This will have an unsettling effect on commercial contracts where certainty is important. I do not think these fears are well founded. I see no reason why, in practice, the availability of the remedy of an account of profits need disturb settled expectations in the commercial or consumer world. An account of profits will be appropriate only in exceptional circumstances. Normally the remedies of damages, specific performance and injunction, coupled with the characterisation of some contractual obligations as fiduciary, will provide an adequate response to a breach of contract. It will be only in exceptional cases, where those remedies are inadequate, that any question of accounting for profits will arise. No fixed rules can be prescribed. The court will have regard to all the circumstances, including the subject matter of the contract, the purpose of the contractual provision which has been breached, the circumstances in which the breach occurred, the consequences of the breach and the circumstances in which relief is being sought. A useful general guide, although not exhaustive, is whether the plaintiff had a legitimate interest in preventing the defendant's profit-making activity and, hence, in depriving him of his profit.

It would be difficult, and unwise, to attempt to be more specific. In the Court of Appeal [1998] Ch 439 Lord Woolf MR suggested there are at least [286] two situations in which justice requires the award of restitutionary damages where compensatory damages would be inadequate: see p 458. Lord Woolf MR was not there addressing the question of when an account of profits, in

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the conventional sense, should be available. But I should add that, so far as an account of profits is concerned, the suggested categorisation would not assist. The first suggested category was the case of "skimped" performance, where the defendant fails to provide the full extent of services he has contracted to provide. He should be liable to pay back the amount of expenditure he saved by the breach. This is a much discussed problem. But a part refund of the price agreed for services would not fall within the scope of an account of profits as ordinarily understood. Nor does an account of profits seem to be needed in this context. The resolution of the problem of cases of skimped performance, where the plaintiff does not get what was agreed, may best be found elsewhere. If a shopkeeper supplies inferior and cheaper goods than those ordered and paid for, he has to refund the difference in price. That would be the outcome of a claim for damages for breach of contract. That would be so, irrespective of whether the goods in fact served the intended purpose. There must be scope for a similar approach, without any straining of principle, in cases where the defendant provided inferior and cheaper services than those contracted for. The second suggested category was where the defendant has obtained his profit by doing the very thing he contracted not to do. This category is defined too widely to assist. The category is apt to embrace all express negative obligations. But something more is required than mere breach of such an obligation before an account of profits will be the appropriate remedy.

Lord Woolf MR [1998] Ch 439, 457, 458, also suggested three facts which should not be a sufficient ground for departing from the normal basis on which damages are awarded: the fact that the breach was cynical and deliberate; the fact that the breach enabled the defendant to enter into a more profitable contract elsewhere; and the fact that by entering into a new and more profitable contract the defendant put it out of his power to perform his contract with the plaintiff. I agree that none of these facts would be, by itself, a good reason for ordering an account of profits.

The present case

[26.170] The present case is exceptional. The context is employment as a member of the security and intelligence services. Secret information is the lifeblood of these services. In the 1950s Blake deliberately committed repeated breaches of his undertaking not to divulge official information gained as a result of his employment. He caused untold and immeasurable damage to the public interest he had committed himself to serve. In 1990 he published his autobiography, a further breach of his express undertaking. By this time the information disclosed was no longer confidential. In the ordinary course of commercial dealings the disclosure of non-confidential information might be regarded as venial. In the present case disclosure was also a criminal offence under the Official Secrets Acts, even though the information was no longer confidential. Section 1 of the *Official Secrets Act 1989* draws a distinction in this regard between members of the security and intelligence services and other Crown servants. Under section 1(3) a person who is or has been a Crown servant is guilty of an offence if without lawful authority [287] he makes "a damaging disclosure" of information relating to security or intelligence. The offence is drawn more widely in the case of a present or past member of the security and intelligence services. Such a person is guilty of an offence if without lawful authority he discloses "any information" relating to security or intelligence which is or has been in his possession by virtue of his position as a member of those services. This distinction was approved in Parliament after debate when the legislation was being enacted.

Mr Clayton submitted that section 1(1) is drawn too widely and infringes article 10 of the *European Convention for the Protection of Human Rights and Fundamental Freedoms* (1953) (Cmd 8969). Section 1(1) criminalises disclosure of information when no damage results. It focuses on the status of the individual who makes the disclosure, rather than on the nature of the information itself. A non-damaging disclosure by a member of the security and intelligence services is criminal, but the identical non-damaging disclosure by a Crown servant is not.

This argument was raised for the first time in this House. Your Lordships are not equipped with the material necessary to decide the point. In the event this does not matter, because there is in the present case another consideration which is sufficient for the purposes of the Attorney-General.

Attorney-General v Blake cont.

When he joined the Secret Intelligence Service Blake expressly agreed in writing that he would not disclose official information, during or after his service, in book form or otherwise. He was employed on that basis. That was the basis on which he acquired official information. The Crown had and has a legitimate interest in preventing Blake profiting from the disclosure of official information, whether classified or not, while a member of the service and thereafter. Neither he, nor any other member of the service, should have a financial incentive to break his undertaking. It is of paramount importance that members of the service should have complete confidence in all their dealings with each other, and that those recruited as informers should have the like confidence. Undermining the willingness of prospective informers to co-operate with the services, or undermining the morale and trust between members of the services when engaged on secret and dangerous operations, would jeopardise the effectiveness of the service. An absolute rule against disclosure, visible to all, makes good sense.

In considering what would be a just response to a breach of Blake's undertaking the court has to take these considerations into account. The undertaking, if not a fiduciary obligation, was closely akin to a fiduciary obligation, where an account of profits is a standard remedy in the event of breach. Had the information which Blake has now disclosed still been confidential, an account of profits would have been ordered, almost as a matter of course. In the special circumstances of the intelligence services, the same conclusion should follow even though the information is no longer confidential. That would be a just response to the breach. I am reinforced in this view by noting that most of the profits from the book derive indirectly from the extremely serious and damaging breaches of the same undertaking committed by Blake in the 1950s. As already mentioned, but for his notoriety as an infamous spy his autobiography would not have commanded royalties of the magnitude Jonathan Cape agreed to pay.

As a footnote I observe that a similar conclusion, requiring the contract breaker to disgorge his profits, was reached in the majority decision of the United States Supreme Court in *Snepp v United States* (1980) 444 US 507. [288] The facts were strikingly similar. A former employee of the Central Intelligence Agency, whose conditions of employment included a promise not to divulge any information relating to the agency without prepublication clearance, published a book about the agency's activities in Vietnam. None of the information was classified, but an agent's violation of his non-disclosure obligation impaired the agency's ability to function properly. The court considered and rejected various forms of relief. The actual damage was not quantifiable, nominal damages were a hollow alternative, and punitive damages after a jury trial would be speculative and unusual. Even if recovered they would bear no relation to either the government's irreparable loss or Snepp's unjust gain. The court considered that a remedy which required Snepp "to disgorge the benefits of his faithlessness", was swift and sure, tailored to deter those who would place sensitive information at risk and, since the remedy reached only funds attributable to the breach, it could not saddle the former agent with exemplary damages out of all proportion to his gain. In order to achieve this result the court "imposed" a constructive trust on Snepp's profits. In this country, affording the plaintiff the remedy of an account of profits is a different means to the same end.

[26.175] LORD STEYN: [291] In the hearing before the House Mr Ross Cranston, the Solicitor General, in a thoughtful and careful speech argued for a recognition of an action for disgorgement of profits against a contract breaker where four conditions are fulfilled. (1) There has been a breach of a negative stipulation. (2) The contract breaker has obtained the profit by doing the very thing which he promised not to do. (3) The innocent party (in this case the Crown as represented by the Attorney-General) has a special interest over and above the hope of a benefit to be assessed in monetary terms. (4) Specific performance or an injunction is an ineffective or virtually ineffective remedy for the breach. The Solicitor General persuaded me that in the case of Blake each of these conditions is satisfied. But since I recognise that it would be wrong to create a remedy simply to cover this case, it is right that I should explain the specific considerations which lead me to conclude that it is right on a principled basis to develop the law in a way which covers this case and other cases sharing materially similar features.

Attorney-General v Blake cont.

My Lords, it has been held at first instance and in the Court of Appeal that Blake is not a fiduciary. This is not an issue before the House. But, as my noble and learned friend, Lord Nicholls of Birkenhead, has observed, the [291] present case is closely analogous to that of fiduciaries: compare *Reading v Attorney-General* [1951] AC 507. If the information was still confidential, Blake would in my view have been liable as a fiduciary. That would be so despite the fact that he left the intelligence services many years ago. The distinctive feature of this case is, however, that Blake gave an undertaking not to divulge any information, confidential or otherwise, obtained by him during his work in the intelligence services. This obligation still applies to Blake. He was, therefore in regard to all information obtained by him in the intelligence services, confidential or not, in a very similar position to a fiduciary. The reason of the rule applying to fiduciaries applies to him. Secondly, I bear in mind that the enduring strength of the common law is that it has been developed on a case-by-case basis by judges for whom the attainment of practical justice was a major objective of their work. It is still one of the major moulding forces of judicial decision-making. These observations are almost banal: the public would be astonished if it was thought that judges did not conceive it as their prime duty to do practical justice whenever possible. A recent example of this process at work is *White v Jones* [1995] 2 AC 207 where by a majority the House of Lords held that a solicitor who caused loss to a third party by negligence in the preparation of a will is liable in damages. Subordinating conceptual difficulties to the needs of practical justice a majority, and notably Lord Goff of Chieveley, at pp 259–60, upheld the claim. For my part practical justice strongly militates in favour of granting an order for disgorgement of profits against Blake. The decision of the United States Supreme Court in *Snepp v United States*, 444 US 507 is instructive. On very similar facts the Supreme Court imposed a constructive trust on the intelligence officer's profits. Our law is also mature enough to provide a remedy in such a case but does so by the route of the exceptional recognition of a claim for disgorgement of profits against the contract breaker. In my view therefore there is a valid claim vesting in the Attorney-General against Blake for disgorgement of his gain.

… [293] My Lords, for these reasons, as well as the detailed and far more compelling reasons given by Lord Nicholls of Birkenhead, I would make the order which he has proposed.

[LORD GOFF OF CHIEVELEY and LORD BROWNE-WILKINSON agreed with Lord Nicholls of Birkenhead. LORD HOBHOUSE OF WOODBOROUGH dissented.]

Appeal dismissed with costs.

[26.180] Note

The possibility of gains-based damages being awarded in response to a breach of contract has not been accepted in Australia. Considerable scepticism about the concept was expressed by Hill and Finkelstein JJ in *Hospitality Group Pty Ltd v Australian Rugby Union Ltd* [2001] FCA 1040; (2001) 110 FCR 157 after considering whether the remedy of account of profits might be available for breach of contract in Australian law, their Honours stated:

> [196] The general rule of the common law was laid down by Baron Parke in *Robinson v Harman* (1848) 1 Ex 850; 154 ER 363. Parke B said that the aim of contract damages was to place the plaintiff in the same position he would have occupied had the contract been performed. See also *Teacher v Calder* [1899] AC 451. In *Tito v Waddell (No 2)* [1977] Ch 106, when considering the appropriate remedy for the failure by the British Phosphate Commissioners to restore Ocean Island following the termination of mining operations, Megarry VC said (at 332):
>
> > [I]t is fundamental to all questions of damages that they are to compensate the plaintiff for his loss or injury by putting him in the same position he would have been in had he not

> suffered the wrong. The question is not one of making the defendant disgorge what he has saved by committing the wrong but one of compensating the plaintiff.

This principle has been accepted as correct by the High Court. See, eg, *Wenham v Ella* (1972) 127 CLR 454; *Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64 ("Amann Aviation"). Moreover, as Mason CJ and Dawson J said in *Amann Aviation* (at 82):

> The corollary of the principle in *Robinson v Harman* is that a plaintiff is not entitled, by the award of damages upon breach, to be placed in a superior position to that which he or she would have been in had the contract been performed.

See also *L Albert & Son v Armstrong Rubber Co*, 178 F2d 182 (1949) and *Restatement, Second, Contracts* (1991) §349, both cited by Mason CJ and Dawson J. (As an aside, it is interesting to note that other jurisdictions have also had to grapple with the possibility of awarding account of profits for breach of contract, see, eg, the decision of the Supreme Court of Israel in *Adras Building Materials Ltd v Harlow & Jones GmbH* 42(1) P D (1988) 221.)

Whether or not the law of contract is "seriously defective" (*Attorney-General v Blake* [1998] Ch 439 at 457 per Lord Woolf MR), if the court is unable to award disgorgement damages (the terminology proposed by L Smith in "Disgorgement of the Profits of Breach of Contract: Property, Contract and 'Efficient Breach' " (1994) 24 *Canadian Business Law Journal* 121), the position in Australia is that the loss recoverable for breach of contract is limited to that laid down in *Robinson v Harman* (supra). That is, the aggrieved party is entitled only to compensation. If he has suffered no loss, he is not entitled to be compensated. In an appropriate case, the aggrieved party may be able to recover (by a claim in restitution) benefits that he has made available to the wrongdoer; for example, he may be able to recover the price paid under an incomplete contract or recover possession of goods sold but not paid for. Presently, however, it would be inconsistent with the current principles laid down by the High Court to confer a windfall on a plaintiff under the guise of damages for breach of contract.

DATE FOR ASSESSING DAMAGES

[26.185] As explained in *Johnson v Perez* (1988) 166 CLR 351, the time at which damages are assessed may significantly affect the amount awarded. The general rule is that damages are usually assessed at the date of the breach of contract although, as also discussed in *Johnson v Perez*, courts may depart from this rule in some exceptional cases.

Johnson v Perez

[26.190] *Johnson v Perez; Creed v Perez* (1988) 166 CLR 351 (High Court of Australia) – Appeals from the Supreme Court of Queensland, Full Court.

[FACTS: The *respondent* sued severally the two firms of solicitors, the *appellants*, for negligence in failing to prosecute two separate actions for damages against two of his previous employers. Those actions had been dismissed for want of prosecution and had become statute-barred. It was accepted that the respondent would have succeeded in both actions.]

MASON CJ: [355] The guiding principle in the assessment of damages is compensatory … However, the time as at which damages are assessed can significantly affect the amount actually awarded. This aspect of the assessment of compensation is particularly noticeable in the present era of inflation, with its fluctuating economic values …

When a court assesses damages, it converts the value of the injury into nominal terms; it fixes or liquidates that value. That conversion into monetary terms avoids the difficult task of inquiring into the

Johnson v Perez cont.

value of goods and services over time and is necessary for the stability of economic legal relationships. The theory according to which damages are awarded by the courts is that a plaintiff's loss or injury can be adequately compensated by a lump or fixed sum of money which is not subsequently revised.

The practice of awarding fixed sums of money worked well when money values and prices were stable. However, in recent times inflation and changing economic values have created complications … The date of assessment determines which party, the plaintiff or the defendant, bears the risk of changing prices during the inevitable delay between the injury and the delivery of judgment. If an early date is used for assessment (the date of the injury for example) in an inflationary economy or where goods of the kind injured are appreciating, it is the plaintiff's position which is eroded. If a later date such as the date of judgment is used, it is the defendant who is exposed.

There is a general rule that damages for torts or breach of contract are assessed as at the date of breach or when the cause of action arises. But this rule is not universal; it must give way in particular cases to solutions best adapted to giving an injured [356] plaintiff that amount in damages which will most fairly compensate him for the wrong he has suffered: see *Johnson v Agnew* [1980] AC 367 at 400–1 … One established exception to the general rule relates to the assessment of damages for personal injury. The award for permanent disability takes into account the fall in the value of money since the accident … By choosing the date of judgment for assessment in these cases, courts have insulated plaintiffs from inflation. The general rule that damages are assessed as at the date of breach or when the cause of action arose has been applied more uniformly in contract than in tort and for good reason. But even in contract cases courts depart from the general rule whenever it is necessary to do so in the interests of justice. So, when a creditor seeks to enforce a debt payable in a foreign currency: "[t]he critical date is not so much the date when the cause of action arose but rather the date when the debt should have been paid": *Cummings* [357] *v London Bullion Co Ltd* [1952] 1 KB 327 at 336 per Denning LJ …

Likewise with contracts for the sale of goods. Where there is a market in which the injured party can buy a replacement, the date of non-delivery is usually deemed the appropriate date. But where there is no such market, a later date may be appropriate. As Oliver J noted in *Radford v De Froberville* [1977] 1 WLR 1262 at 1285; [1978] 1 All ER 33 at 56, the rationale behind this rule lies "in the inquiry — at what date could the plaintiff reasonably have been expected to mitigate the damages by seeking an alternative to performance of the contractual obligation?" …

As I noted earlier, the choice of an early date for assessment leaves the injured party exposed to the deleterious effects of inflation. True it is that legal interest may be awarded from the date of breach, but this is often too low to remedy the effects of inflation and the loss of the use of the money … However, the preference for an early date is motivated, as Oliver J … suggest[s], by concerns about mitigation. This requirement of mitigation can in turn be explained [358] in part by notions of fairness to the party at fault. Once the injured party learns of the breach, he can minimise the loss for which the other will be required to compensate by immediately purchasing a replacement.

As we have seen, the assessment of damages for personal injury stands in a rather different position …

As a response to these problems many civil law jurisdictions have shifted the date of assessing the injury to the date of judgment. France made this change as early as 1942 … Other countries have used the conceptual device of the debt of value to achieve the same result. A debt of value, in contrast with a debt of money, has as its object neither a thing nor a sum of money but a value. The debt of value may be revalued in money terms if either the purchasing power of the currency changes or the [359] value of the particular good or interest shifts in relation to general price levels.

Although a preference for a later date of assessment in tort cases may be appropriate, a wholesale shift to the date of judgment would not adequately achieve the goal of accurate compensation. Take, for example, a shipload of petroleum destroyed en route to the harbour where it was to be sold the next day. After the intended date of sale, oil prices rise. Because the object is to restore the injured party to the position he would have been in save for the mishap, the court should not necessarily use the date of judgment but rather should consider the use to which the petroleum was to be put. It

Johnson v Perez cont.

was to be sold immediately and the damages should reflect the price the injured party would have obtained on the intended date of sale. This in fact is what the House of Lords did in *Bwllfa and Merthyr Dare Steam Collieries (1891) v Pontypridd Waterworks Co* [1903] AC 426 …

Admittedly, where the injured party's intentions are not so patent as in these two examples, the determination of the time at which the injured good would have been converted to currency may present a difficult task …

[360] As the cases to which I have referred reveal, the principles governing the assessment of damages do not permit the application of rigid rules based on categories of actions. Instead, the injured party's intentions and the surrounding circumstances must be considered in light of the underlying principles in order to do justice between the parties. Where mitigation is possible, an early date for assessment may be appropriate. Where mitigation concerns are not relevant and the circumstances indicate that the injured party would have maintained possession of the good had the accident not occurred, the date of judgment is the most appropriate date for assessment. Where the circumstances indicate that the property or interest would in some other way have been converted into monetary terms between the time of injury and date of judgment, the date as at which the injury is assessed should reflect the time of the intended conversion.

In each of the appeals at hand, the solicitor's negligence caused the loss of a cause of action for personal injuries. Each of the injuries suffered by the respondent was the loss of a chance to recover on a cause of action. Unlike in *Kitchen v Royal Air Force Association* [1958] 1 WLR 563; [1958] 2 All ER 241 where it was by no means certain that the plaintiff's claim would have succeeded had her solicitors not negligently allowed it to become time barred, there is no question in these appeals whether the respondent would have succeeded in the personal injury actions. The sole issue is the value of those causes of actions. In these actions, mitigation concerns are inapposite as it was impossible for the respondent to limit the damage caused by the appellants' negligence. It is appropriate that the injured party be protected from the vicissitudes of depreciating currency and that the tortfeasor bear the risk of any appreciation. Otherwise, the compensatory object of the assessment of damages would be undermined.

Nevertheless, the respondent is not entitled to compensation beyond his loss. As Ryan J suggested in the Full Court, there has been an escalation in the awards for personal injury actions over the time between the date the actions would have been heard but for the appellants' negligence and the date of trial of these negligence actions. The respondent's personal injury actions, however, had it not been for the appellants' negligence, would have been converted into money at the earlier date. In the absence of the appellants' negligence the respondent would not have been entitled to benefit from that rise in personal injury awards. It is therefore appropriate [361] that the dates that the personal injury actions would have been converted be used as the dates of assessment.

I would allow the appeals.

[WILSON, TOOHEY and GAUDRON JJ, in a joint judgment, and DAWSON J also allowed the appeals. BRENNAN and DEANE JJ dissented.]

Appeals allowed.

[26.195] Note

On the date for assessing damages see also *Golden Strait Corporation v Nippon Yusen Kubishika Kaisha* [2007] UKHL 12; [2007] 3 AC 353.

CHAPTER ***27***

Limitations on the award of damages

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[27.05] The major limitations on the recovery of damages for breach of contract are the principles of causation, remoteness and mitigation. A number of more specific rules may also limit the damages available in certain cases.

CAUSATION

[27.10] In order to recover damages for a breach of contract, a plaintiff must show a causal connection between the defendant's breach and the loss for which the plaintiff is seeking compensation. As a preliminary assessment of causation, the "but for" test is often relied upon. However, that test has its limitations. In *March v E & MH Stramare* (1991) 171 CLR 506, the High Court said that, ultimately, causation must be a matter of "common sense". *March v E & M H Stramare Pty Ltd* concerned the tort of negligence, but the principles discussed apply equally to a claim for damages for breach of contract. The principles were applied to a contract claim in *Alexander v Cambridge Credit Corp Ltd* (1987) 9 NSWLR 310, extracted at [27.20].

REMOTENESS OF DAMAGE

[27.15] In order for damages to be awarded for breach of contract, a plaintiff must show that the loss to be compensated was not too remote.

The general rule as to remoteness of damage in the law of contract is laid down in *Hadley v Baxendale* (1854) 9 Exch 341; 156 ER 145. Alderson B explained (at 355 (Exch); 151 (ER)):

> Where two parties have made a contract which one of them has broken, the damages which the other party ought to receive in respect of such breach of contract should be such as may fairly and reasonably be considered either arising naturally, that is, according to the usual course of

> things, from such breach of contract itself, or such as may reasonably be supposed to have been in the contemplation of both parties, at the time they made the contract, as the probable result of the breach of it.

The application of the rule is illustrated in *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* [1949] 2 KB 528. The contract in question was for the sale of a boiler by the defendants to the plaintiffs for use in the plaintiffs' laundry and dyeing business. The boiler was delivered to the plaintiffs some 20 weeks after the time fixed by the contract. The plaintiffs claimed damages for the loss of profit they would have made had the boiler been delivered on time. Included in this claim were the loss of a large number of new customers and the loss of a highly lucrative contract with the Ministry of Supply. The English Court of Appeal concluded that the plaintiffs could recover a general sum for the loss of profit. The defendants knew that the plaintiffs needed the boiler for immediate use in their laundry business but did not know the precise use to which the boiler was to be put. The court held that the defendants must reasonably be presumed to foresee some loss of business if the boiler was not delivered on time. However, the plaintiffs were not able to recover losses relating to the highly lucrative contracts. For the plaintiffs to recover the profits expected on the special contracts, the defendants would have had to know of the prospect of such contracts.

Somewhat more complex examples of the application of the remoteness rules are found in the two following cases.

Alexander v Cambridge Credit Corp

[27.20] *Alexander v Cambridge Credit Corp Ltd* (1987) 9 NSWLR 310 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Rogers J.

[FACTS: In 1971, in breach of contract, the auditors (the *defendants)* of Cambridge Credit (the *company*) in their annual audit failed to qualify their report in relation to provisions for doubtful debts and certain other matters. In subsequent years, the defendants had similarly failed to qualify their reports, but action was brought only in relation to the 1971 breach. As a result of the breach, the value of the company was overstated. If the provisions had been made in the accounts, it would have been apparent that the company had breached the terms of a trust deed under which it had issued debentures, in which event the trustee for the debenture holders would (as the trial judge found) have put the company into receivership. In fact, the company continued to trade until 1974 when it was unable to pay an instalment of interest on its debentures and unsecured notes, and a receiver was appointed.

At the trial, Rogers J found that, after making certain adjustments, by the completion of the receivership, the sum to be obtained from the realisation of the assets would fall short of the sum required to meet liabilities by $155 million. He also held that if the company had gone into receivership in September 1971, the insufficiency of assets to meet liabilities would have been only $10 million. His assessment of the damage that the company suffered by reason of the defendants' breach of contract was $145 million. The defendants appealed.]

GLASS JA (dissenting): [312] In my opinion the appeal should be dismissed for the following reasons.

Finding of facts

The ultimate questions of liability must be approached upon a substratum of factual findings. I am satisfied that the evidence establishes the following facts.

1. Commencing in the year 1969 at the latest the defendants were aware that the company had incurred a number of substantial trading losses. [313]
2. The accounts prepared for the year ended June 1971 failed to make provision for a number of failed investments and irrecoverable debts.

Alexander v Cambridge Credit Corp cont.

3. It was not seriously in contest on the appeal that the extent of the under-provision was at least $7 million.
4. If the findings made by the trial judge are upheld the under-provision amounted to $9.1 million. I am satisfied that his findings … should not be disturbed.
5. If the accounts had been adjusted to provide for the $9.1 million deficiency, shareholders' funds would have been reduced in 1971 to $3.1 million.
6. The trust deed fixed a maximum ratio of debentures to shareholders' funds of 5 to 1. In lieu of the permitted issue of $16.5 million, debentures on issue totalled $56 million.
7. The trust deed also prohibited the company from issuing debentures exceeding three quarters of the value of liquid assets. His Honour found that on the defendants' own figures there were liquid assets of only $38 million being a little more than 50 per cent of the cover required for the $56 million on issue.
8. The failure of the auditors to qualify their report with respect to the shareholders' fund borrowing ratio was held to be a breach of contractual duty on their part. This conclusion is no longer in dispute.
9. The failure to qualify the report with respect to the liquid assets ratio was held not to be a breach of duty because it was done in accordance with legal advice. This conclusion is also unchallenged.
10. On the plaintiff's case the trust deed stipulated that if either borrowing ratio was breached, the trustee for the debenture holders had power to appoint a receiver and this would have been done by September 1971. His Honour upheld both of these contentions.
11. During the period from September 1971 to September 1974 the company continued to trade in the business of land developer. It bought large areas of land for development and sold developed land in lots. It borrowed large sums of money, raised capital, made modest profits and paid dividends. It entered into many joint ventures in the real estate field.
12. The financial position of the company during the three year period was not only affected by internal business decisions.
13. There were also events external to the company occurring during that period which affected the business of land development. The boom in land which had commenced before 1971 culminated in a slump, government authorities took active steps by way of monetary intervention which resulted in a credit squeeze and there were doubtless other contributing factors such as an excess of supply over demand.
14. There were other events of a character which affected only part of the market for real estate. Floods in Queensland of exceptional severity caused the Queensland government to prohibit the development of land subject to flooding. The company held a good deal of land affected by this ban.
15. During the whole of the three year period from the defendant's default in 1971 until the receivership in 1974 the company traded in breach of its two [314] borrowing ratios. The defendants failed to qualify their report in any year subsequent to 1971.
16. The net worth of the company in September 1971 was minus $10 million. In September 1974 it was minus $67 million.

The powers of the trustee under the trust deed

As previously mentioned the trust deed provided that in certain events the trustee had power to appoint a receiver … The purpose of having a trustee is to have action taken in precisely those circumstances and I do not doubt that the power would have been exercised … If the auditors had acted as they should have, the report would have been qualified, the trustee would have acted and a receiver would have been appointed by September 1971.

Alexander v Cambridge Credit Corp cont.

Was the plaintiff's damage caused by the failure to appoint a receiver in 1971?

[27.25] The trial judge held that the plaintiff had established that the collapse of the company in September 1974 was caused by the auditors' default as the company in its weakened financial state was vulnerable to such an event. Before this court, Mr Sperling QC, counsel for the plaintiff, did not attempt to support that finding. He submitted that the plaintiff's case on causation was now and always had been different from that upheld by his Honour. The plaintiff contended that the damage suffered by it was not the collapse of the company in 1974 but the deterioration in the company's financial position during the period September 1971 to September 1974 as a result of being in trade. The appointment of a receiver in 1974 was not the event causing detriment to the company. It marked the end of the three year period of trading activity in which the detriment suffered was the difference between a net worth of minus $10 million at the beginning and a net worth of minus $67 million at the end of the period. The question which attracted most attention in the written submissions and oral argument was whether that damage claimed by the plaintiff and so defined had been caused by the default in question.

The relevant principles of causation and remoteness

[27.30] In determining whether the plaintiff's proofs establish its claim for damages, I would direct myself that the following propositions are valid under Australian law and are the relevant principles for application. I do not propose to discuss in what respects the English law may be different.

1. The plaintiff must establish that the defendant's default caused the damage suffered and that he is responsible for it in law. [315]
2. There is no occasion to consider whether responsibility is incurred for the plaintiff's loss until it is first established that the defendant's default caused it: *Chapman v Hearse* (1961) 106 CLR 112 at 122.
3. The doctrine of remoteness marks out the limits beyond which a defendant is no longer liable for loss caused by him: *Chapman v Hearse* at 122.
4. It is irrelevant to inquire whether the defendants' default was the dominant, effective or real cause of the plaintiff's loss. If the evidence is suggestive of multiple causation, the inquiry to be made is whether the defendants' default was *a* cause of the plaintiff's loss: *Fitzgerald v Penn* (1954) 91 CLR 268 at 273.
5. The test of causation poses the question whether the plaintiff's loss would not have been suffered but for the defendants' default. The question is to be answered by applying that test in a practical commonsense way: *Nader v Urban Transit Authority of New South Wales* (1985) 2 NSWLR 501 at 530–1 and cases there cited.
6. If the defendants' conduct is in this sense a cause of the plaintiff's loss, the existence of another concurrent cause which combines to produce the loss is of no relevance.
7. If there is a consecutive event but for which the plaintiff would not have suffered the loss claimed, that intervening event may be described as a novus actus interveniens.
8. The evidentiary picture may be such that it is proper to think that the intervening event is in a practical common sense way the only cause of the loss to the exclusion of the earlier event: *Mahony v J Kruschich (Demolitions) Pty Ltd* (1985) 156 CLR 522 at 528.
9. Where, however, the earlier event remains a cause notwithstanding the intervention of a later event, it is necessary to consider whether the intervening event has metaphorically broken the chain linking the plaintiff's loss to the defendants' default which ex hypothesi was a cause of it. This is determined by principles of remoteness.
10. Where the defendant is a tortfeasor the intervention will not have that effect if the intervention is foreseeable as a possibility in a general sort of way: *Mount Isa Mines Ltd v Pusey* (1970) 125 CLR 383.
11. Where the default is a breach of contract, the intervention will not have the effect of terminating the defendants' responsibility for the loss caused by it, if the parties should have contemplated

Alexander v Cambridge Credit Corp cont.

at the time of the contract that in the event of the sort of breach which did occur an intervention of that general kind was a serious possibility or a not unlikely occurrence: *Koufos v C Czarnikow Ltd* [1969] 1 AC 350.

Was the plaintiff's damage caused by the defendants' default?

[27.35] In considering how the causal question should be answered in a common sense way it is necessary to have regard to the events before the period began as well as the events which occurred during the period. The plaintiff submits that both kinds of event favour its submission. The company had a track record of failed investments. It was and continued to be in breach of its two borrowing ratios. During the three year period, so it is submitted, the company's business activities were marked by a number of features. It failed to realise land development stock held at September 1971. Instead it held much of it through the boom and into the slump. It acquired more land stock [316] by borrowing money on a grand scale with the intention of holding it for development and retained a good deal of that land through the boom and into the slump. It made modest profits but after three years trading its net worth had [decreased] from minus $10 million to minus $67 million.

Mr Bainton places reliance upon the facts found in accordance with paras 11 to 14. He submits that the company had recovered its financial health and was brought down by events subsequent to 1971. The question is a finely balanced one of deciding in a practical common sense way whether it was the failure to appoint a receiver which was one of the causes of the deterioration in its financial position. It seems to me that it is not wanting in practicality to say that the company was financially worse off in 1974 by $57 million because it had traded during that period and that being in trade was a cause of its damage. Some bad business decisions and external developments adverse to its business doubtless contributed to the deterioration. But the auditors by their default failed to close the company down in 1971. It was that failure which in a common sense way was a cause of the damage since but for the failure it would not have traded and in the events which happened would not have run down its assets in the calamitous way it did. Nor do I think that the intervening events constituted causes of the deterioration so as to exclude the fact that the plaintiff was in trade as another cause in a common sense way. It is not profitable in my view to consider what answer should be given when the evidentiary factors are different. If there had been a small breach of ratios followed by a return to complete financial health or an entry into a completely different line of business common sense would doubtless say that the failure to appoint the receiver was not a cause and its deterioration was caused only by subsequent events. But the evidence here in my view supports the common sense conclusion that but for this company's continuance in trade in the same line of business, under the same management in breach of the same ratios it would not have run down its assets. Being in trade when it should have been in receivership was a cause of the $57 million loss it suffered. If an unseaworthy vessel puts to sea because marine surveyors have negligently certified it, its loss will also be due to the marine hazards which cause it to founder. But it is equally true that its loss could not have occurred but for the fact that it put to sea as a result of a negligent survey.

Was the plaintiff's loss too remote from the defendants' default to be recoverable?

[27.40] The auditors were aware of substantial trading losses 1967–1971. They were aware that the trustee depended on them to ensure that the company was put into receivership when serious and irremediable breaches of both ratios were disclosed. The failure to close the company down in those circumstances carried with it the serious possibility that the exigencies of the market would inflict further serious loss. Those exigencies included business miscalculations, market fluctuations and economic change. The auditors of a land development company riding a boom should reasonably contemplate that the boom will be followed by a slump. A company in breach of both its borrowing ratios should be closed down by the combined action of auditor and trustee to avoid the risk of further deterioration. The failure to close it down produced the very developments which should have been contemplated [317] as serious possibilities in the event of that failure. The relevant loss, the remoteness of which is in question, is not the company's parlous position in 1974. It is the financial

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deterioration produced by three years trading to be measured by a comparison of its bad position in 1971 with its much worse position in 1974.

Quantification of damage

[27.45] Expert evidence established that the company's net worth deteriorated from minus $10 million in 1971 to minus $67 million in 1974. The trial judge added to $67 million the outstanding interest on debentures and after making certain adjustments entered judgment for $145 million. The plaintiffs are prepared to set off against the loss of $57 million, dividends paid in 1972, 1973 and 1974 totalling $3 291 000 yielding a total loss of $141 709 000. The difference between that sum and the amount of the judgment is of no practical consequence because of the insufficiency of funds to meet the judgment recovered …

[27.50] MCHUGH JA: [337] The principal issues in the appeal are whether there was a causal connection between the admitted breaches of the audit contract in 1971 and the later losses suffered by Cambridge and, if so, whether the losses were too remote from the breach of contract to be legally recoverable.

In my opinion the appeal should be allowed for each of the following reasons:

1. There was no causal connection between the auditors' breach of contract in 1971 and the loss or damage suffered by Cambridge.
2. In a practical sense, the sole cause of the loss or damage was the dramatic turn around in economic conditions in Australia in the period 1972–1974 coupled with the decisions of Cambridge to expand its borrowings and its investments in real estate.
3. The loss or damage and the manner of its occurrence was not within the reasonable contemplation of the parties when they made the audit contract in 1970.

[His Honour then reviewed the financial situation of Cambridge over the years 1971 to 1974 and continued:]

The trial judges' reasons for holding that the loss was the result of the breach of the audit contract

[27.55] [348] His Honour was satisfied that the breaches of duty committed by the auditors in relation to the 1971 accounts were factually the real, efficient cause of the 1974 collapse of Cambridge … Accordingly, he held that the losses suffered by Cambridge were the result of the auditors' breach.

Cambridge supports the verdict on different grounds

[27.60] In its submissions to this court, Cambridge did not attempt to support the learned trial judge's reasoning. Neither at the trial nor on this appeal did it assert that the damage which it suffered in consequence of the auditors' breach of contract was the result of a low capital base in 1971. Cambridge's case was that the auditors "could and should have acted in 1971 to close the company down and thereby prevent the situation from continuing". It argued [349] that, because of the auditors' breach of contract, the directors *kept the company in trade*. It contended that, if the auditors had taken the action that they should have taken in September 1971, the directors could not have caused the company to trade from September 1971 to September 1974. Cambridge submitted that the date of receivership simply marked the end of the period during which the directors wrongfully kept the company in trade and during which the relevant losses were sustained.

Counsel for Cambridge candidly acknowledged that, even if there had been an additional $10 million in Cambridge's equity base, as the accounts for 1971 falsely stated, it would not have avoided what happened in 1974. He said that, if Cambridge had had additional shareholders' funds of $10 million in 1971, they would probably have been lost in investment in real estate. He said that that observation "would seem to be sufficient to dispose of his Honour's approach". Moreover, since his Honour found that the deficiency of assets to meet liabilities in September 1974 was $67 million, it seems likely that Cambridge would have needed a great deal more than $10 million shareholders'

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funds if it was to have any chance of survival from September 1974 until the real estate market turned upwards. Further, as at 31 December 1973, borrowings by Cambridge of $41 773 034 were repayable within 12 months. There is no reason to suppose that the position was any better in September 1974. So, as at the date, Cambridge not only had a large deficiency in assets to meet liabilities but it also had a pressing need for a large sum of working capital. Even if Cambridge's accounts in 1971 had represented its true financial position, the catastrophe, which befell it in 1974, would still have occurred.

Causation

[27.65] To sustain its verdict against the auditors, Cambridge must show that "the loss suffered resulted from the breach" of the audit contract: *Reg Glass Pty Ltd v Rivers Locking Systems Pty Ltd* (1968) 120 CLR 516 at 523 per Barwick CJ, McTiernan and Menzies JJ. That is, Cambridge must prove a causal connection between the issue by the auditors of their erroneous certificates in 1971 and the loss of $145 million which represents the difference in the financial position of Cambridge on the basis of a hypothetical receivership in 1971 and the actual receivership in 1974.

Cambridge contended that, "but for" the breach of duty by the auditors in erroneously certifying the accounts and issuing the certificates in 1971, it would not have traded after September 1971 except to realise its assets in an orderly way. Thus it would not have made the additional losses which occurred as the result of trading in the period 1971–1974. A causal connection between the breach of contract and the loss of $145 million was therefore established. Counsel for the auditors retorted that on this Adam-and-Eve approach to causation the act of the Registrar of Companies in incorporating Cambridge ought to be regarded as the cause of its loss. He submitted that the real and efficient cause of Cambridge's loss had to be ascertained and that it was not the auditors' breach of contract. [351] Cambridge contended that the issue of causation is concluded once it is found that the auditors' breach was causally connected with the loss and that this was to be determined by applying the "but for" test. It asserted that the question of policy was subsumed under the test of remoteness of damages … The auditors submitted that between the "but for" test and the rules relating to remoteness of damage was a test of legal causation: Was the breach of contract the legal cause of the damage which Cambridge suffered? Legal cause was to be determined by asking whether the breach was the dominant or real and efficient cause of the damage …

[354] [T]he case upon which the auditors placed most reliance was the decision of the House of Lords in *Monarch Steamship Co Ltd v Karlshamns Oljefabriker (A/B)* [1949] AC 196. The facts are complicated but in essence a ship sailed in May 1939 from Manchuria in fulfilment of a charterparty to carry goods to a port in Sweden. She should have been in European waters by the middle of July, but her speed was slow owing to a longstanding defective condition of her boilers. By reason of repairs to her boilers at Port Said, the ship did not leave that port until 24 September. Meanwhile war had broken out. The Admiralty prohibited the ship from proceeding to Sweden and ordered her to discharge her cargo at Glasgow. The purchasers of the goods were put to additional expense in obtaining the carriage of the goods from Glasgow to the port in Sweden. The House of Lords unanimously held that the purchasers could recover this cost from the shipowners as the loss resulting from the shipowner's breach of contract in respect of unseaworthiness of the vessel. Lord Porter saw the Admiralty order as a new and independent cause. But he held (at 214–15) that the shipowner was responsible because it ought to have foreseen that a war would be likely to occur during the course of the voyage, if it was protracted, and that, if war occurred, the carriage of goods to the stipulated port might be prohibited. Lord Uthwatt and Lord Morton of Henryton both agreed with the speech of Lord Porter.

Lord du Parcq also agreed with the speech of Lord Porter on the question of causation. Lord Wright said (at 225) that the orders of the Admiralty were not "the immediate or dominant cause of the delay". His Lordship said (at 226) that *Smith Hogg & Co Ltd v Black Sea and Baltic General Insurance Co Ltd* [1940] AC 997 did not lay down any new law. What was emphasised in that case was that a voluntary act (negligent or not) of a human agent is not generally an independent or new cause

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which breaks the chain of causation so as to exclude from consideration the causal effect of the unseaworthiness …

[355] I do not think that the speeches in the *Monarch Steamship* case support the general proposition for which the auditors contended. In my opinion the ratio decidendi of the case was that the unseaworthiness remained a cause of the loss because the commencement of the War and the diversion of the ship was a reasonably foreseeable consequence of delay from unseaworthiness …

[357] In my opinion the above cases do not establish the proposition that a plaintiff in an action for breach of contract must prove that the breach of contract was the real and efficient or dominant cause of the loss which he suffered …

[358] Accordingly, to establish a causal connection between a breach of contract and the damage which the plaintiff has suffered, he needs only to show that the breach was a cause of the loss. This is to be decided by the application of common sense principles. In general, the application of the "but for" test will be sufficient to prove the necessary causal connection. But that test is only a guide. The ultimate question is whether, as a matter of common sense, the relevant act or omission was a cause.

Causation in this case

[27.70] In my opinion Cambridge failed to prove that the breach of contract by the auditors in 1971 was a cause of the loss of $145 million which it suffered …

What makes the present claim truly remarkable is that Cambridge does not assert that it relied on the certificates of the auditors or on their failure to qualify the accounts. Through its officers and particularly the managing director, Cambridge was well aware of the facts that gave rise to the finding that provision should have been made for its doubtful debts and investments. What Cambridge does is to seize on the finding that, if the trustee had known of the true financial position and the breaches of the ratios, it would have put Cambridge — no doubt against its will — into receivership in September 1971. Reliance by the trustee on the certificates issued in October and November 1971 is basic to Cambridge's case …

[359] Finally, it needs to be borne in mind that, although counsel for Cambridge did not acknowledge it, the case for Cambridge on the causation issue ultimately rests on the assumption that reliance by the trustee on the certificates of October/November 1971 continued throughout the trading period 1971–1974 even though a new certificate was given each six months and whenever a new debenture prospectus was issued. Moreover, Cambridge did not seek to prove that particular losses in respect of particular transactions were caused by the auditors' certificates …

In the proved circumstances of this case, I do not think that the issue of the certificates by the auditors constituted a cause of Cambridge's loss of $145 million. The existence of a company, as counsel for Cambridge conceded, cannot be a cause of its trading losses or profits. Yet that is what the case for Cambridge comes to. Except in the sense that the issue of the certificates induced the trustee not to take action against Cambridge and thereby permitted Cambridge to exist as a trader, the issuing of the certificates was not one of the conditions which were jointly necessary to produce the loss of $145 million. To assert in these circumstances that the issue of the certificates was a cause of the loss in my opinion is to depart from the common sense notion of causation which the common law champions. Moreover, whatever causal significance the certificates of the auditors in 1971 may have had in keeping the company in trade, their effect was well and truly spent by 1973 … The inherent weakness in the case made by Cambridge became apparent when its counsel was asked to identify the time when the loss occurred. He [360] said that the correct term was "damage" rather than "loss" and that the damage to the company arose from carrying on business between 1971 and 1974 …

These arguments either equate business decisions and investments with loss or damage — which they are not — or imply that the damage did not occur until the price of land collapsed in 1974. If the latter conclusion was intended, it demonstrates only too clearly that reliance by the trustee on the 1971 certificates was not *a* cause of the damage. By then at least five later lots of certificates, accounts

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and reports had been received by the trustee. If the argument of Cambridge has any plausibility, it arises from the insistence that it was unnecessary to examine what occurred in respect of the individual transactions. Yet many transactions after 1971 were profitable. Cambridge made profits in the years 1972 and 1973. It paid taxes on those profits. In 1972 it paid dividends of $1 107 000; in 1973 it paid dividends of $1 212 000; in 1974 it paid dividends of $972 000. Moreover, on the trial judge's findings, there was an increase in shareholders' funds of $6 572 002 between 30 June 1971 and 31 December 1973 after paying dividends and taxes. Cambridge conceded that even on its figures there was an increase in shareholders' funds of $1 614 348 during this period although, of course, $1 960 000 came from additional capital. These figures leave out the claim that the revaluation of the unsold real estate in 1973 showed that assets had increased by $40 million. Moreover, until 30 September 1974 Cambridge was able to meet all its current liabilities. The payment of interest and repayment of creditors continued until 30 September 1974. As late as 30 July 1974, Cambridge had $2 914 000 available in liquid funds. The argument that the breaches by the auditor allowed Cambridge to remain in trade and, therefore, was *a* cause of its loss of $145 million is rejected.

The intervening act/s in this case

[27.75] [362] If, contrary to my view, the breach of contract by the auditors in 1971 was a cause of the loss of $145 million by Cambridge, the collapse of the real estate market, as the result of the policies of the then Australian government, constituted a novus actus interveniens which *in point of law* broke the causal connection. Strictly speaking, it may be more correct to regard the novus actus interveniens as consisting of a package of the following factors which intervened after the auditors' breach of contract in 1971:

1. The expansionary budget of August 1972.
2. The unprecedented rate of monetary expansion in 1972–1973 brought about by the large current account surplus and the high rate of capital inflow.
3. The acceleration of inflation in early 1973.
4. The boom in land sales and the spectacular increase in the prices of land.
5. …

[His Honour then listed further matters and considered their effect on Cambridge's business. He continued:] [363] If, contrary to my view, there was a connection between the issue of the certificates in 1971 and this collapse, it was so superseded in potency by supervening events as not to rank as a cause either in common sense or in law. The package of economic factors together with the decisions of the directors of Cambridge to increase its borrowings and investment in real estate constituted a novus actus interveniens.

If … a defendant is liable for intervening events of a kind which he ought to reasonably foresee, then in my opinion the novus actus interveniens was beyond the reasonable foresight of an ordinary person or, if it matters, an auditor or businessman … The package of factors, together with the investment and borrowing decisions of the directors of Cambridge after 1971, were, in a practical sense, the sole cause of the loss of $145 million.

Remoteness

[27.80] Losses which result from a breach of contract are not compensable if they are too remote. So another question in this case is whether the loss of $145 million was too remote from the breach of contract even if it was causally connected. Sometimes the term "remoteness" is used in discussion of the issue of the causation-in-fact. But the more conventional use of the term "remoteness" is to describe the body of principles which limit the recovery of damages to those losses and damage which in a tort case were reasonably foreseeable and which in a contract case were within the reasonable contemplation of the parties. The principles relating to remoteness in contract were examined at length in *Koufos v C Czarnikow Ltd* [1969] 1 AC 350 where a division of opinion emerged among the Law Lords as to the degree of the likelihood of an event which had to be contemplated by the parties to the contract. Lord Reid and Lord Morris were of opinion that a defendant is legally responsible

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for any loss or damage arising from a result which is contemplated as "not unlikely". Lord Morris and Lord Hodson approved of liability for damage which was contemplated as "liable to result". Lord Pearce and Lord Upjohn approved of legal responsibility for loss or damage arising from a result which was contemplated as "a serious possibility or real danger".

In *Reg Glass Pty Ltd v Rivers Locking Systems Pty Ltd* the majority of the High Court said (at 523) that the measure of damages for breach of a [364] warranty in a contract involved two steps: "First that the loss suffered resulted from the breach, and secondly that the loss suffered was, when the contract was made, reasonably foreseeable as likely to result from such a breach." The second of these steps was an adoption of the second proposition in *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* [1949] 2 KB 528 at 536 which was rejected by the House of Lords in *Koufos v C Czarnikow Ltd*. Later High Court cases, however, appear to accept Lord Reid's speech in *Koufos* as correctly stating the law: *Wenham v Ella* at 471–2 and *Burns v MAN Automotive (Aust) Pty Ltd* (1986) 61 ALJR 80; 69 AIR 11 at 86 (ALJR), 20–1 (AIR); but see Brennan J at 25 …

In the present case, the auditors were content to accept that the test of remoteness was whether, at the time of contracting, there was in contemplation "a serious possibility of damage of the type in question". But they argued that, in applying that test, regard must be had to the facts and the results reached in the various cases in which the test of remoteness has been applied. I am content to adopt this approach in this case although I prefer the formulation of Lord Reid in *Koufos v C Czarnikow Ltd*.

The decision in *Koufos* resulted in a modification of the principles expounded in *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* at 539–40 which had extended the principles laid down in *Hadley v Baxendale* at 354–5; 15 1. In the latter case, Alderson B had said:

> the damages which the other party ought to receive in respect of such breach of contract should be such as may fairly and reasonably be considered either arising naturally, that is, according to the usual course of things, from such breach of contract itself, or such as may reasonably be supposed to have been in the contemplation of both parties, at the time they made the contract, as the probable result of the breach of it.

Baron Alderson went on to explain that, if the special circumstances were known to the parties, the damages resulting from the breach, which the parties would contemplate, "would be the amount of injury which would ordinarily follow" from a breach under those circumstances. If no special circumstances were known, the defendant could only be supposed to have contemplated "the amount of injury which would arise generally, and in the great multitude of cases not affected by any special circumstances, from such a breach" ….

[365] In *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd*, the Court of Appeal restated these principles in a series of six propositions which extended the scope of liability. The court said (at 539) that a party could only recover "such part of the loss actually resulting as was at the time of the contract reasonably foreseeable as liable to result from the breach". And it was liable to result "if the loss (or some factor without which it would not have occurred) is a 'serious possibility' or a 'real danger' ": at 540 …

In *Koufos* there was, as I have indicated, a division of opinion as to the degree of likelihood of the result which had to be contemplated. Only Lords Pearce and Upjohn were prepared to adopt the "serious possibility" or "real danger" standard formulated in *Victoria Laundry*. But all the Law Lords agreed that the test of reasonable foreseeability laid down in that case was to be avoided. Thus Lord Upjohn said (at 422) that liability "should depend on their assumed common knowledge and contemplation and not on a foreseeable but most unlikely consequence".

In later cases (for example, *H Parsons (Livestock) Ltd v Utley Ingham & Co Ltd* [1978] QB 791 at 807), there has been a tendency to play down the distinction between reasonable foreseeability and reasonable contemplation as semantic only. However, I think that the difference is a real one which results in a significant narrowing of liability. The word "contemplation" seems to be used in *Koufos* in the sense of "thoughtful consideration" or perhaps "having in view in the future". It emphasises that,

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if the parties had thought about the matter, they would really have considered that the result had at least a "serious possibility" of occurring.

The actual decisions in *Hadley v Baxendale and Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* bear out the proposition that the contemplation test limits the area of potential liability. For it was surely reasonably foreseeable as a serious possibility that the millshaft was required for the operation of the mill and that a launderer and dyer might have special contracts with a lucrative profit margin. Yet the losses of the plaintiffs arising from those circumstances were not recoverable.

An important matter in ascertaining whether the loss or damage is too remote is the extent to which the parties may be taken to have contemplated the events giving rise to that loss or damage. The parties need not contemplate the degree or extent of the loss or damage suffered: *Wroth v Tyler* [1974] Ch 30 at 61–2; *H Parsons (Livestock) Ltd v Uttley Ingham & Co Ltd* at 813 and *South Coast Basalt Pty Ltd v R W Miller & Co Pty Ltd* [1981] 1 NSWLR 356 at 364. Nor need they contemplate the precise details [366] of the events giving rise to the loss. It is sufficient that they contemplate the kind or type of loss or damage suffered. The most difficult question in determining the relevant kind of damage concerns the level of classification of the damage which the parties must have contemplated. Clearly the level must not be so high that the parties are required to contemplate the very loss in question or the precise manner of its occurrence. Nor must it be so low that any loss or damage, no matter how unusual in nature or occurrence, would fall within the classification. In the field of tort a similar problem arises …

Helpful guidance as to the proper level of characterisation is to be found in some of the decided cases. Thus in tort, injury by shock is a different kind of damage from injury by a blow: *Overseas Tankship (UK) Ltd v Morts Dock & Engineering Co Ltd*: at 426 … In the field of contract it has been held that profit from a specially lucrative contract is not of the same kind as the loss of general business profits: *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd*. It seems clear from these authorities that the parties must contemplate both the general nature of the loss or damage and the general manner of its occurrence: compare *Chitty on Contracts* (25th ed, 1983), pp 934–5.

Remoteness in this case

[27.85] Cambridge contended that, at the time of the making of the contract in 1970, the parties would have contemplated as a serious possibility that, if in 1971 the auditors failed to perform their contractual duty, damage would occur of such a kind "as was manifest in the deterioration" of Cambridge's financial position between September 1971 and September 1974 …

[367] If it is legitimate to look at the loss as a whole, I do not think that it belongs to the kind of loss or damage which the parties would have contemplated as being a serious possibility of occurring … In 1970 I do not think that the parties would have contemplated as a serious possibility that Cambridge might suffer damage in 1973 or 1974 by reason of events of the kind which then took place.

No doubt when making the audit contract they would have contemplated as a serious possibility that, if in breach of contract the auditors failed to draw attention to the need to write-off debts and investments, Cambridge might suffer damage by trading with insufficient equity capital. And they might well have contemplated a tightening of economic conditions. But in my opinion the damage which would be contemplated would be damage, speaking generally, in the period until the next audit.

The decisive consideration, however, is that the economic conditions encountered in 1974 were so different from the "tightening of economic [368] conditions" that the parties might have contemplated in 1970 as to be different in kind … Applying a phrase, which admittedly in *Koufos* was criticised, I think that the parties would not have thought that the losses in question were "on the cards" …

To impose liability upon the auditors in this case seems to me to exceed that which the auditors could fairly be regarded as having contemplated and been willing to accept. The track which the parties looked down in 1970 bore few, if any, resemblances to the track which Cambridge went down between 1972 and 1974.

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Accordingly, even if there was a causal connection between the breach of contract in 1971 and the loss of $145 million and no novus actus interveniens, that loss was too remote to be recoverable in these proceedings.

The appeal should be allowed on the grounds so far argued …

[27.90] MAHONEY JA [agreed that the appeal should be upheld. In the course of his judgment he said]:

[335] [R]eference was made in argument to what has been described as the "but for" test of causality … In a sense, the company's case depends upon a "but for" view of causality. Its contention is that but for the defendants' breach, the company would not have remained in existence in 1971–1974 and therefore, but for that breach, it would not have suffered the fall in its net worth which occurred.

With respect to those who take a different view, I do not think that the "but for" test can be accepted as the test of causality in the law. It was stated by McHugh JA in the *Nader case* (at 531B) as being that "every necessary member of the group of conditions jointly sufficient to produce the injury or damage is a cause of that injury or damage." I do not mean by this quotation to state in full the subtlety or qualifications of the test: I refer to it in these terms for the purpose only of identification of it. But there are, in my respectful opinion, insuperable difficulties in accepting it as the definitive test of causality in the law. The first problem that I feel with that test is that it is in fact not the test which is applied. Where purportedly it determines the existence of a causal relationship, the determination is made by reference to other factors. Thus, assume I suffer loss because the defendant caused his revolver to fire a bullet into my chest. That loss could not have happened "but for" the manufacture of the revolver and the sale of it to the defendant. Yet ordinarily the manufacturer or the seller would not be held in law to have caused my loss. Their participation is something "but for" which my loss would not have occurred yet, for an unstated reason, they have not in the instant case caused the loss. Argument may be directed to many things: "novus actus interveniens" is not the only reason why they are excluded.

But, of course, the "but for" test may be formulated in a more elaborate [336] way and in the formulation of it the manufacture and the sale may be excluded. They are excluded, I think, by a process similar to, as it has been described, the formulation of a "causal field". In determining what, for the purpose of the instant discussion, is the causal relationship, there is first defined a causal field or, as it was described in the *Nader case*, the set of "necessary … group of conditions jointly sufficient to produce the injury or damage" … It is essential to this process of determining the causal field that many things, such as the manufacture and sale of the revolver, which are in truth "but for" conditions are excluded. And the reason for their exclusion is a reason of policy, definition, or the like, being a matter which is not determined by the mere application of "but for" considerations. It is, I think, for reasons of this kind that the "but for" test has been suggested by Hart and Honoré as in the end not acceptable and not an explanation of what the courts do in determining causality …

Appeal allowed on grounds so far argued.

Stuart v Condor Commercial Insulation

[27.95] *Stuart Pty Ltd v Condor Commercial Insulation Pty Ltd* [2006] NSWCA 334 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Murrell J.

[FACTS: Stuart Pty Ltd (the *appellant*) was a construction company. It contracted with the Commonwealth of Australia to replace insulation in a number of residential properties in Sydney under the Sydney Aircraft Noise Insulation Program (*SANIP*). The appellant then sub-contracted this work to Condor Commercial Insulation Pty Ltd (the *respondent*), with each property subject to a

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separate agreement. SANIP cancelled its contract with the appellant after a fire broke out in one of the properties due to the respondent's negligence. The appellant brought proceedings against the respondent, claiming damages for the loss of profits that followed the termination of its contract with SANIP and its consequent inability to secure contracts for further unallocated houses under the program.

The trial judge found that the fire was the principal reason that SANIP suspended the allocation of work to the appellant and that the faulty workmanship led to the termination of the contract. However, the trial judge dismissed the appellant's claim for damages as too remote.]

Legal principles

BEAZLEY JA: [32] A party may recover damages for breach of contract:

> … such as may fairly and reasonably be considered either arising naturally, ie, according to the usual course of things, from such breach of contract itself, *or such as may reasonably be supposed to have been in the contemplation of both parties, at the time they made the contract, as the probable result of the breach of it*. (*Hadley v Baxendale* at 354 (emphasis added)).

[33] It is the second limb (italicised portion) of the rule with which this case is concerned.

[34] In *C Czarnikow Ltd v Koufos* [1969] 1 AC 350 the House of Lords was concerned with the question whether a shipowner was liable for the charterers' loss of profit, when, in breach of the charterparty, it had deviated from the proposed route whilst carrying a consignment of sugar, resulting in the ship being delayed by some nine or ten days. During that period sugar prices had dropped. The shipowner knew that the charterers were sugar merchants and that there was a sugar market in Basrah, the port of destination. It had no actual knowledge, however, that the charterer intended to sell the sugar promptly after its arrival.

[35] Lord Reid, after considering the rule in *Hadley v Baxendale*, stated at 385:

> I am satisfied that the court did not intend that every type of damage which was reasonably foreseeable by the parties when the contract was made should either be considered as arising naturally, ie, in the usual course of things, or be supposed to have been in the contemplation of the parties … the decision makes it clear that a type of damage which was plainly foreseeable as a real possibility but which would only occur in a small minority of cases cannot … be supposed to have been in the contemplation of the parties: the parties are not supposed to contemplate as grounds for the recovery of damage any type of loss or damage which on the knowledge available to the defendant would appear to him as only likely to occur in a small minority of cases.
>
> In cases like *Hadley v Baxendale* or the present case it is not enough that in fact the plaintiff's loss was directly caused by the defendant's breach of contract. It clearly was so caused in both. The crucial question is whether, on the information available to the defendant when the contract was made, he should, or the reasonable man in his position would, have realised … that loss of that kind should have been within his contemplation.
>
> His Lordship pointed out that the liability to pay damages under contract was more restricted than was the liability in tort.

[36] Lord Reid also reviewed a number of other cases, including *R & H Hall Ltd v WH Pim (Junior) & Co Ltd* (1928) 33 Com Cas 324; [1928] All ER 763. His Lordship continued at 388 that *Hall's* case established that damages were not too remote:

> [M]erely because, on the knowledge available to the defendant when the contract was made, the chance of the occurrence of the event which caused the damage would have appeared to him to be rather less than an even chance.
>
> His Lordship considered that it was "*generally sufficient that [the event that caused the damage] would have appeared to the defendant as not unlikely to occur*" (emphasis added), noting that probabilities usually could not be assessed with any degree of mathematical

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> accuracy. However, there is a difference between when a consequence of breach was within the reasonable contemplation of the parties and when a consequence was reasonably foreseeable: see Lord Reid at 385. As his Lordship pointed out, at 389, "*a great many extremely unlikely results are reasonably foreseeable*".

[37] Lord Morris of Borth-y-Gest took a similar approach. He said at 396:

> On the facts of the present case it is however pertinent to pose the enquiry as to what the natural ordinary and sensible answer of the appellant would have been if he had asked himself what the result for the respondents would be if he (the appellant) in breach of contract and therefore unjustifiably caused his ship to arrive at Basrah some nine or ten days later than it could and should have arrived.

[38] His Lordship noted that the appellant did not know precisely what plans the respondent had for the sale of the sugar. Nonetheless, his Lordship considered that the appellant:

> … could and should at the very least have contemplated that if his ship was nine days later in arriving than it could and should have arrived some financial loss to the respondents or to an endorsee of the bill of lading might result.

[39] His Lordship stated that it was not necessary, for the contract breaker to be liable, that the loss that did result was one that could be seen as being certain to result. His Lordship continued at 397:

> If a party has suffered some special and peculiar loss in reference to some particular arrangements of his which were unknown to the other party and were not communicated to the other party and were not therefore in the contemplation of the parties at the time when they made their contract, then it would be unfair and unreasonable to charge the contract-breaker with such special and peculiar loss. If, however, there are no "special and extraordinary circumstances beyond the reasonable prevision of the parties" … then it becomes very largely a question of fact as to whether in any particular case a loss can "fairly and reasonably" be constituted as arising in the normal course of things.

[40] On that approach, his Lordship considered that the result in any particular case did not depend upon having to make a choice between phrases such as "*liable to result*" or "*likely to result*" or "*not unlikely to result*". As his Lordship observed, each of these phrases might be helpful but so might many others.

[41] Lord Hodson, at 410-411, considered that damage was recoverable if it was contemplated as "*liable to result*". Lord Pearce, at 414-5, used the expression "*serious possibility or real danger*".

[42] Lord Upjohn at 422, observed that the recovery of damages in tort and under contract was different and that under the second limb of *Hadley v Baxendale* the entitlement to damages depended upon the "*assumed common knowledge and contemplation of the parties*". At 424, his Lordship said that the question to be determined was:

> [W]hat as a practical matter is to be taken as within the contemplation of both parties as the result of a breach?

His Lordship remarked upon the variety of expressions that had been used in the cases, namely:

> [L]ikelihood; possibility must have been in the minds of both parties; a matter commercially to be taken into account; a serious possibility or a real danger; a grave risk

and stated at 425, that he was prepared to adopt as the test a "*real danger*" or a "*serious possibility*".

[43] In *Alexander v Cambridge Credit Corporation Limited* (1987) 9 NSWLR 310 McHugh JA (as his Honour then was) observed at 364 that the High Court appeared to have accepted Lord Reid's speech in *C Czarnikow v Koufos* as correctly stating the law: see *Wenham v Ella* (1972) 127 CLR 454 at 471-472; *Burns v MAN Automotive (Aust) Pty Limited* (1986) 161 CLR 653 at 658; *Baltic Shipping Co v Dillon*

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(1993) 176 CLR 344 at 368. See also *Simonius Vischer v Holt & Thompson* [1979] 2 NSWLR 322 at 363. McHugh JA expressed a preference for Lord Reid's formulation.

[44] McHugh JA pointed out at 365 that the actual decisions in *Hadley v Baxendale* and *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* [1949] 2 KB 528 arose out of the proposition that "*the contemplation test*" limited the area of potential liability. In that regard, his Honour considered that an important matter in determining whether the loss or damage was too remote was:

> [T]he extent to which the parties may be taken to have contemplated the events giving rise to the loss or damage.

[45] His Honour considered that it was not necessary for the parties to contemplate the degree or extent of the loss that was in fact suffered or the precise details of the events giving rise to the loss. It was sufficient, for the contract breaker to be liable, that the parties contemplated the kind or type of loss or damage that was suffered. Under that approach general loss of profits is a recoverable loss but loss of profits from a specially lucrative contract of which a defendant was unaware is not. McHugh JA pointed out, at 366, that "*the parties must contemplate both the general nature of the loss or damage and the general manner of its occurrence*".

[46] It is apparent from his Honour's consideration of the principles that apply in determining whether a loss is recoverable within the second limb of *Hadley v Baxendale*, that it is the assumed or deemed contemplation of the parties that is relevant. However, as his Honour pointed out at 367, whilst it is unnecessary that the parties should have contemplated that the precise loss or damage would have occurred precisely in the way that it came about, it was necessary, in some general way, for the parties to contemplate both the type of damage suffered and the manner in which it occurred.

[47] In *Seven Seas Properties Ltd v Al-Essa (No 2)* [1993] 1 WLR 1083, the plaintiff had agreed to purchase a leasehold property from the defendants. On the same day as entering into that contract, the plaintiff on-sold the property to a third party at a profit. Both contracts were to be completed on the same day. Upon the defendants learning that the plaintiff had on-sold the property for a profit they refused to complete. The third party sued the plaintiff for loss of bargain. The plaintiff in turn sued the defendants claiming damages in respect of the losses it suffered from being unable to complete its contract with the third party.

[48] The plaintiff based its claim under the second limb in *Hadley v Baxendale*. It argued that, in the special circumstances known to the defendants, it might reasonably be supposed to have been in their contemplation that the plaintiff might enter into such a contract and that if it did so, a breach of contract by the defendant was liable, and indeed likely, to put the plaintiff in breach of any such contract of resale and would occasion loss or damage. The special circumstances relied upon were: the character of the premises, being a block of flats that needed refurbishment; the fact that property professionals were likely interested purchasers of the property who might be expected to buy in order to turn the property to account, as the opportunity might arise and to resell quickly if the price available was right; and the buoyant state of the property market at the time.

[49] Gavin Lightman QC, sitting as a deputy High Court judge, accepted that these special circumstances had been established. He then considered the circumstances in which the losses occasioned to a purchaser by reason of the existence of a subcontract were recoverable, noting that without more they were not recoverable under the first limb of *Hadley v Baxendale*. A defaulting party was liable under the second limb by way of damages for the losses which, as at the date of the contract, the defaulting party was on notice might be occasioned by a breach so that it might fairly be held that when entering into the contract the non-defaulting party had accepted such risk. Mr Lightman QC said that for that purpose, a party was on notice of facts actually known by him; known by his agent and in respect of which it was the agent's duty to communicate to him; and which he should reasonably have deduced from either of these sources of knowledge. He continued, at 1088, that the defaulting party:

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> … will only be held to have accepted the risk if he was on notice of the purpose and intent of the plaintiff in entering into the contract with him, and the consequent exposure of the plaintiff to the risk of damage of the character in question in the event of the defendant's breach.

[50] In relation to a claim by a purchaser to recover losses arising under a sub contract, Mr Lightman QC held that it was necessary for the plaintiff to establish that the defendant was on notice at the date of the contract of the purpose and intent on the part of the plaintiff to enter into the subcontract and that the plaintiff's fulfilment of the subcontract depended upon the defendant's performance of his contractual obligations to the plaintiff.

[51] In *Castle Constructions Pty Limited v Fekala Pty Limited* [2006] NSWCA 133 at [39] Mason P stated, in relation to the second limb in *Hadley v Baxendale*, that:

> [T]he law is conscious of the injustice of visiting the party in breach with the consequences of a loss that was not within that party's reasonable contemplation when contracting.

[52] The reason for this is because, were it otherwise, the defaulting party may have lost the opportunity to make an informed decision as to whether or not to have accepted the risk. His Honour referred to the reasons of Gavin Lightman QC at 1088 to which I have referred. In my opinion, being in an informed position so as to decide whether to accept the risk would include having sufficient information to assess whether insurance cover for the risks concerned ought to be obtained.

[53] The same point was made in *Robophone Facilities Ltd v Blank* [1966] 1 WLR 1428, where the question arose as to whether a penalty clause in a contract was a genuine pre-estimate of loss. In discussing that question, Diplock LJ said, at 1447-1448:

> … the plaintiff may be able to show that owing to special circumstances outside "the ordinary course of things" a breach in those special circumstances would be liable to cause him a greater loss of which the stipulated sum does represent a genuine estimate. In the absence of any special clause in the contract, this enhanced loss due to the existence of such special circumstances would not be recoverable at common law from the defendant as damages for the breach under the so-called "second rule" in *Hadley v Baxendale* unless knowledge of the special circumstances had been brought home to the defendant at the time of the contract in such a way as to give rise to the inference that the defendant impliedly undertook to bear any special loss referable to a breach in those special circumstances.

[54] His Lordship recognised that the rationale for a defendant's liability under the "second rule" in *Hadley v Baxendale* is an implied undertaking by the defendant to the plaintiff to bear such loss. Actual knowledge of the special circumstances is relevant as *one* of the factors from which this undertaking can be implied. His Lordship also considered that in order to be liable under the second rule, the defendant should have acquired this knowledge from the plaintiff, or at least that he should know that the plaintiff knew that the defendant was possessed of it at the time the contract was entered into and so could reasonably foresee at that time that an enhanced loss was liable to result from a breach. His Lordship concluded that where both these factors are present, the defendant's conduct in entering into the contract without disclaiming liability for the foreseeable enhanced loss gives rise to the implication that the defendant undertakes to bear such loss.

[55] In *Oxley County Council v Macdonald & Ors; Brambles Holdings Ltd v Macdonald & Ors* [1999] NSWCA 126 this Court (Sheller JA, Priestley and Powell JJA agreeing) pointed out that remoteness is a question of fact: see *Monarch Steamship Co Limited v Karlshamns Oljefabriker (A/B)* [1949] AC 196 at 223; *Wenham v Ella* at 466-7. In *Oxley and Brambles* an employee of Oxley's had been injured whilst unloading equipment transported by Brambles. He sued both Oxley and Brambles and succeeded against both. Oxley and Brambles each brought a claim against the other for breach of contract.

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[56] Oxley alleged breach of an implied term of the contract that it load the goods in a safe and proper manner so that they could be unloaded safely. It was held that such an implied term was an incident of the contract of carriage and had been breached. Sheller JA at [61] said that:

> … there could … be little doubt that if Oxley suffered damage as a result of the breach of [the] contract, the measure of damages would be the damages and costs Oxley was required to pay to the plaintiff and the costs Oxley incurred in defending the proceedings.

[57] His Honour considered that this followed from *Florida Hotels Pty Limited v Mayo* (1965) 113 CLR 591 at 598-9. *Florida Hotels* involved a similar situation where an employer was responsible to its employee plaintiff for a work place injury. The accident had occurred in part due to inadequate supervision by the architect. It was held that the possibility of liability of the employer for injury to its employees flowing from the consequences of lack of supervision of the architect must have been within the reasonable contemplation of the parties and the architects were thus liable to the employer for the damages that the employer was required to pay to its injured employee.

[58] Oxley was responsible for the unloading. The Court found that Oxley was contractually obliged to do so without damaging Brambles' property or injuring Brambles' employee or contractor. The Court considered however that a claim to recover damages from Oxley being the amount of its liability to the injured plaintiff, was too remote. Sheller JA said at [69]:

> Brambles' claim in contract is not so clear. It was obliged to carry the goods to the Oxley depot and there deliver them on its truck. Oxley had the obligation of unloading. No doubt it was contractually obliged to do so so as not to damage Brambles' property or injure Brambles' employee or contractor. But the damages for breach of the contract which Brambles now claims to recover, being the amount of its liability to the plaintiff, were, in my opinion, too remote. I say this for the following reasons. The degree of probability that Oxley's breach of the contract would cause Brambles to suffer loss as the result of a claim against it by an employee of Oxley for injuries suffered was such as to make the loss wholly unpredictable; see generally Greig & Davis, *The Law of Contract*, at 1376. In my opinion, damages for the loss which Oxley suffered as a result of the injury to its employee and its liability as employer to that employee could fairly and reasonably be considered to arise according to the usual course of things from Brambles' breach of its contractual obligation to load and secure the goods with reasonable care and skill. However, I do not think that the possibility of Brambles' liability to Oxley's employee flowing from the consequence of Oxley's failure to unload the goods with reasonable care and skill could fairly and reasonably be considered to arise according to the usual course of things; compare *Florida Hotels v Mayo* at 598. Nor do I think such damages could reasonably be supposed to have been in the contemplation of both parties, at the time they made the contract, as not unlikely to occur; compare *Hadley v Baxendale* (1854) 9 Ex 341 at 355; 156 ER 145 at 151; *Koufos v C Czarnikow Limited* [1969] 1 AC 350 at 388; *Alexander v Cambridge Credit Corporation* (1987) 9 NSWLR 310 at 363 and following per McHugh JA.

[59] In Carter and Harland, *Contract Law in Australia* (2002, 4th ed), the learned authors state at [2128] that the most difficult aspect of the second limb "*is the extent to which the defendant must have agreed to accept the risk of the damage*". They refer to Diplock LJ's identification of the matters relevant to determining whether an undertaking to bear the risk of damage ought to be implied: see [53] above. The authors then state that:

> In order to rebut the presumption implied by actual knowledge [of the special circumstances] the defendant must show that there was no acceptance of the risk of liability for the damage.

[60] They indicate that, in commercial contracts, this might be achieved by an express clause in the contract, but that:

> [I]n respect of other types of contracts the defendant may perhaps rely on the fact that the price for performance is out of all proportion with the risk implied by the knowledge obtained.

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[61] It is clear, however, that an express clause in the contract is not necessary, regardless of how one might characterise the contract: see *Czarnikow v Koufos* per Upjohn LJ at 421-422. See generally Greig and Davis, *The Law of Contract* (1987).

…

Conclusion on remoteness

[27.100] [88] In deciding whether the appellant has established an entitlement to damages under the second limb, the following matters require determination. The first is whether it could be said that the loss was within the reasonable contemplation of the parties. In this case, that question is, for the most part, although not solely, determined by having regard to the question whether the respondent was aware of special circumstances such as to enable the court to conclude that it would have been in the reasonable contemplation of both parties that the appellant would lose the SANIP contract if the respondent breached its contract with the appellant: see *Robophone* at 1447-1448. The second relates to the event that gave rise to the loss: see *Czarnikow v Koufos* at 385, in the extract set out at [36] above.

Was the loss in the reasonable contemplation of the parties?

[27.105] [89] The respondent submitted that it was apparent that the damages in this case were too remote when regard was had to the rationale that underlay the second limb in *Hadley v Baxendale*, namely, the circumstances in which a party would be fairly held to have accepted the risk of the loss that is claimed. It contended that that the type of damage which occurred here, being the loss of the appellant's contract with SANIP, was such as would occur only in a small minority of cases, and thus was not in the reasonable contemplation of the parties at the time that they entered into the contract. Rather, the loss that the parties would reasonably have in their contemplation as a result of failing to perform the work in a good and workmanlike manner would be the carrying out of, or possibly the cost of carrying out, rectification work.

[90] In this case, there is no doubt that the appellant would have been liable to the homeowner for the loss caused by the fire and that loss would have been recoverable from the respondent under the first limb of *Hadley v Baxendale* notwithstanding the catastrophic result of the breach. But even if that loss was not recoverable under the first limb, it would have been recoverable under the second, because it would have been within the reasonable contemplation of the parties that damage might be caused to a property where faulty work had been performed and that rectification work would have to be done. It is irrelevant that the parties had not contemplated that the damage to the property as a result of the faulty workmanship was a fire or that such damage was greater than the parties had contemplated. It was sufficient that the parties contemplated the general nature of the loss — on this example, namely, damage to property: see *Alexander v Cambridge Credit* at 336; *Oxley County Council v Macdonald* (see at [58] above).

[91] However, that is not the loss which is being claimed. The appellant claims damages for loss of its contract with SANIP, with whom the respondent had no contractual arrangement: cf *Alexander v Cambridge Credit* at 358. That contract was terminated in the circumstances already discussed — namely, that after an initial suspension of work during which time SANIP undertook an audit of the work undertaken by the appellant, all of which had been performed by the respondent, SANIP terminated the appellant's contract for the appellant's breach of contract, including a failure to properly supervise the work. The trial judge found that the fire was the principal reason that SANIP suspended the allocation of work to the appellant and that the laying of the insulation over the downlights was also one of the matters that led to the termination of contract.

[92] The question as to whether damage or loss would reasonably have been in the contemplation of the parties is an evaluative process. In this case, I am of the opinion that it would reasonably have been in the contemplation of the parties that if the respondent failed to perform the work in a good and workmanlike manner as required under its contract with the appellant, the appellant would most likely have replaced the respondent with another contractor. In that case, it may have

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suffered loss due to a delay in being able to find a new contractor. It may also have suffered loss because a new contractor may have quoted higher prices than those agreed between the appellant and the respondent so that the appellant's profit margin on each house was thereby reduced. Such losses would likely to have been recoverable under the second limb of *Hadley v Baxendale*. In my opinion, however, the loss in fact claimed is not one the risk of which the respondent is likely to have undertaken, even if it was aware of special circumstances relating to the contract.

[93] As Diplock LJ explained in the passage set out above at [53] above, if the appellant is able to show "*that owing to special circumstances outside 'the ordinary course of things' a breach in those special circumstances would be liable to cause him a greater loss*" than the stipulated sum, or I would add, damages claimable under the first limb of *Hadley v Baxendale*, then that greater loss is recoverable within the second limb.

[94] In this case the "*special circumstance*" is the appellant's contract with SANIP. The respondent knew of that contract and knew that the appellant expected it to be profitable and that there were a large number of houses upon which work was to be undertaken. Apart from that however, the respondent did not know its terms. On the approach taken in *Robophone*, that may be sufficient for the Court to infer or presume that the respondent undertook the risk, unless it could be established that there were other factors upon which any such inference could be rebutted.

[95] In this case, there are two particular considerations that are relevant to the "rebuttal" of any such inference. First, the supervision of the works was the responsibility of the appellant in the way I have explained above. The respondent did not undertake any contractual responsibility to supervise the work on behalf of the appellant and it was not paid for the supervision of the work. The only "supervision" undertaken by Condor was that Mr Kirkness, as the respondents' project manager, was required to ensure that the work was properly performed. That was work undertaken for Condor, as I have already said.

[96] Secondly, under its own contract with SANIP, the appellant remained responsible for the works. The loss claimed in this case is not a loss that arises directly as between the appellant and respondent. Rather, the loss relates to a contract between SANIP and the appellant allegedly caused by the breach of the contract between the appellant and the respondent. In circumstances where, under its contract with SANIP, the appellant remained responsible for all work carried out by sub-contractors, I am of the opinion that it would not have been in the reasonable contemplation of the respondent that poor workmanship on its part would result in the loss of the appellant's entire contract with SANIP. I also doubt that it would have been in the appellant's own reasonable contemplation.

[97] Further, the contract amount for the individual contracts between the appellant and the respondent was quite small and the respondent had no contractual right to any ongoing relationship. Rather, each house was the subject of a separate contract, although at the time that this contract was entered into, the respondent did have an expectation of being the beneficiary of the work allocated to the appellant by SANIP. However, in the absence of any contractual right to such work, and where each job involved a contract price of about $10,000, I consider that the contract price was so out of proportion to the risk of being liable for damages for the loss of the appellant's contract with SANIP not to be within the reasonable contemplation of the parties.

Was the event that caused the loss one that was "not unlikely to occur"?

[27.110] [98] Although the test for the second limb in *Hadley v Baxendale* is usually expressed in terms which focuses upon loss of the kind that was suffered and asks whether such loss would have been within the reasonable contemplation of the parties at the time that they entered into the contract, Lord Reid in *Czarnikow v Koufos* at 388 also considered it relevant to have regard to the event that gave rise to the loss. If the event would have appeared to the respondent as not unlikely to occur, that would be sufficient to establish liability.

[99] That is of particular significance in this case. The respondent's breach of contract was a failure to perform work in a good and workmanlike manner. That breach had an immediate catastrophic

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consequence — namely, a fire that destroyed a house. In the way in which the authorities permit reference to the "event" that gave rise to the loss, the "event" in this case, in my opinion, was the fire.

[100] The trial judge did not make a finding as to whether the fire was something that appeared to the defendant as "*not unlikely*" to occur. She did state that all witnesses agreed that it was bad building practice to put insulation directly over a downlight, as they could overheat, giving rise to a risk of fire. However, that comment was made in that part of her Honour's judgment dealing with the cause of the fire, where she was considering the expert evidence alone.

[101] An examination of the evidence of the respondent's witnesses, Mr Lambert and Mr Kirkness, reveals that neither had an understanding that a fire was "*not unlikely*" to occur, although it appears both knew it was bad building practice to place insulation over downlights. Mr Lambert knew that if there were downlights, special treatment was needed. No more was established from his evidence than that. Mr Kirkness agreed that it was a well-known potential hazard that insulation shouldn't come into contact with downlights. However, he denied that if the insulation was not kept away from the downlights there was a risk of fire. He said that if the insulation did come into contact:

> … it was probably more a potential that the down light would fail through overheating than the insulation catch fire because it was actually rated not to spread a fire through the roof. The idea of the insulation was to actually melt and pull away from the heat source, whether it be a down light, a faulty wire connection or anything like that … insulation is designed to not ignite and if it does ignite it will self-extinguish or the insulations that we were using would pull away from the heat source and not spread the flame. It was bad practice to put insulation over a down light because what would usually happen you would have the down light failing all the time.

He explained that the downlight would fail because of overheating.

[102] The respondent contended that the fire which occurred in the house some months after the insulation work had been completed was an unusual catastrophic event and was not one of which it could be said was "*not unlikely to occur*". Given the evidence to which I have just referred, this is correct and no other conclusion could have been reached on the evidence. Accordingly, this basis for the application of *Hadley v Baxendale* had not been made out.

[103] Accordingly, I agree with the trial judge's assessment that the cancellation of the appellant's contract with the resultant loss of profits on such balance of the work as might have been allocated to the appellant by SANIP was a loss that would not have been in the reasonable contemplation of the parties and was too remote.

[104] It follows that I would dismiss the appeal with costs.

IPP JA:

[27.115] [107] I agree generally with the reasons to be published by Beazley JA, which I have had the benefit of reading. I wish to set out in my own words my reasons for agreeing with the orders her Honour proposes. …

[119] In the present case, there is little doubt that Stuart's claimed loss of profits was reasonably foreseeable. This, however, is not to the point.

[120] In terms of the contract between Stuart and SANIP, Stuart remained responsible for the workmanship of any works it sub-contracted. Had Stuart complied with its contractual obligations to SANIP, it would have taken steps to ensure that the sub-contracted work included boxing the down-lights. As Beazley JA points out, prior to the work being done, when a representative of Stuart attended at the premises with representatives of the other parties to "scope" the works, Stuart's representative, like the others, failed to detect the presence of the down-lights. Stuart neither specified in the purchase order the work of boxing the down-lights nor, once the work was complete, did it physically verify whether down-lights in the dwelling had been boxed. I repeat: by failing to have the down-lights boxed, Stuart committed a breach of its contract with SANIP.

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[121] In my view, it would not reasonably have been in Condor's contemplation when it entered into the contract with Stuart that not only would it (Condor) breach its contract with Stuart by missing the existence of the down-lights in the dwelling (and not boxing them), but Stuart, too, would breach its contract with SANIP by failing to detect the same down-lights (with the result that the insulation came into direct contact with the lights). For this reason I agree with the orders proposed by Beazley JA.

[122] There is another point to which Beazley JA draws attention. The trial judge stated that all witnesses agreed that if a down-light was not boxed, the light — when switched on — would heat the insulation and, eventually, the insulation could be set on fire. Beazley JA points out, however, that this finding ignores the evidence of Condor's witnesses who testified that the insulation was designed not to ignite and not to spread flames when heated. The finding, therefore, was made in error.

[123] The effect of the evidence of Condor's witnesses is that, because of their belief in the non-inflammable qualities of the insulating material, Condor did not contemplate that its breach in not boxing the down-lights would cause a fire to break out. In view of the trial judge's omission to have regard to this evidence, there is no reliable finding that Condor, reasonably, should have contemplated that such a breach would have caused a fire. For this reason, too, the appeal should succeed.

[TOBIAS JA agreed with judgments of Beazley JA.]

Appeal dismissed.

[27.118] **Note**

For further discussion of the difficult issue of assumption of responsibility for risk, see *Transfield Shipping Inc v Mercator Shipping Inc (The Achilleas)* [2008] UKHL 48; [2009] 1 AC 61 and *MFM Restaurants Pte Ltd v Fish & Co Restaurants Pte Ltd* [2010] SGCA 36; [2011] 1 SLR 150.

MITIGATION OF DAMAGE

[27.120] *McGregor on Damages* (19th ed, 2014), [250], states the principle of mitigation as follows:

> The principal meaning itself comprises three different, although closely inter-related, rules. This analysis into three rules, although clearly implicit in the cases, is one which has not formerly been given explicit statement in English law. It is submitted that such a division lends clarity to a difficult topic. The three rules are these:
>
> (1) The first and most important rule is that the plaintiff must take all reasonable steps to mitigate the loss to him consequent upon the defendant's wrong and cannot recover damages for any such loss which he could thus have avoided but has failed, through unreasonable action or inaction, to avoid. Put shortly, the plaintiff cannot recover for avoidable loss.
>
> (2) The second rule is the corollary of the first and is that, where the plaintiff does take reasonable steps to mitigate the loss to him consequent upon the defendant's wrong, he can recover for loss incurred in so doing; this is so even though the resulting damage is in the event greater than it would have been had the mitigating steps not been taken. Put shortly, the plaintiff can recover for loss incurred in reasonable attempts to avoid loss.

(3) The third rule is that, where the plaintiff does take steps to mitigate the loss to him consequent upon the defendant's wrong and these steps are successful, the defendant is entitled to the benefit accruing from the plaintiff's action and is liable only for the loss as lessened; this is so even though the plaintiff would not have been debarred under the first rule for recovering the whole loss, which would have accrued in the absence of his successful mitigating steps, by reason of these steps not being ones which were required of him under the first rule. Put shortly, the plaintiff cannot recover for avoided loss.

Reasonable steps in mitigation and the impecunious plaintiff

[27.125] *Burns v MAN Automotive (Aust) Pty Ltd* (1986) 161 CLR 653 raises the question of how the first of the three rules stated by McGregor (extracted at [27.120]) should be applied where the plaintiff's own impecuniosity prevented him or her from taking reasonable steps to mitigate the loss in question.

Burns v MAN Automotive (Aust)

[27.130] *Burns v MAN Automotive (Aust) Pty Ltd* (1986) 161 CLR 653 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: In 1977, Burns (the *appellant*), a road haulier, bought a prime mover from MAN Automotive (the *respondent*). The respondent warranted that the vehicle's engine had been fully reconditioned. The respondent knew that the appellant intended to use the vehicle in his business and should also have known that he was not in affluent circumstances. In July 1978, the appellant learned that the engine had not been fully reconditioned at the time he bought it and that it was very defective. The respondent would not rectify the state of the engine, although pressed by the appellant to do so. The appellant could not afford to pay the $7,000 to $8,000 required at that time to put the engine in the warranted condition. The defective state of the engine meant that the vehicle could not be used on interstate routes. Instead, until the end of 1979, the appellant used the vehicle within his own State, and the business was carried on at a loss. At the end of 1979, the vehicle broke down again, and a short time later, it was repossessed by the finance company, *Esanda*, involved in the transaction. The appellant sued the respondent in the Supreme Court of Queensland for damages for breach of warranty. The damages awarded to the appellant included a sum for loss of earnings for the period of four years after the date of purchase upon the footing that it was the period for which the engine would have been expected to operate efficiently if it had been fully reconditioned. The respondent appealed to the Full Court of the Supreme Court, which held that the appellant could not recover for loss of profits after the condition of the engine had been discovered in July 1978. The appellant appealed to the High Court against the reduction of damages.]

GIBBS CJ: [657] There can be no doubt that it was within the reasonable contemplation of the parties at the time when the contract was made that if the warranty was broken the appellant might lose the profits which he might otherwise have made in the business of an interstate haulier. According to the finding of the learned trial judge, the appellant might have been able, with the use of a prime mover whose engine had been fully reconditioned, to earn such profits for four years. The appellant had made known to representatives of the respondent the purpose for which he intended to use the vehicle, and if the engine was not in a fully reconditioned state a loss of profits was a serious possibility at the time when the contract was [658] made. In accordance with the rule in *Hadley v Baxendale* (1854) 9 Ex 341 [156 ER 145], as explained in *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* [1949] 2 KB 528; *C Czarnikow Ltd v Koufos* [1969] 1 AC 350; and *Wenham v Ella* (1972) 127 CLR 454, any loss of profits proved to have resulted from the fact that the engine was not fully reconditioned would, subject to the considerations which I am about to mention, be recoverable as damages for breach of warranty.

The learned judges in the Full Court of the Supreme Court restricted the damages for loss of profits to the loss incurred in the period which ended in July 1978. …

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I consider that this is a case in which it is necessary to consider whether the appellant did what he could to mitigate the damage caused by the breach of warranty. As I have said, a loss of profits for the four years during which the reconditioned engine could probably have been used was within the reasonable contemplation of the parties as a consequence of a breach of the warranty. Notwithstanding the much criticized decision in *Liesbosch, Dredger v Edison, SS (Owners)* [1933] AC 449, any damage which resulted from a breach of the contract, and was reasonably within the contemplation of the parties when the contract was made, is recoverable even though the appellant's impecuniosity contributed to it: *Monarch Steamship Co Ltd v Karlshamns Oljefabriker (A/B)* [1949] AC 196, at 224; *Trans Trust SPRL v Danubian Trading Co Ltd* [1952] 2 QB 297, at 302, 306, 307. However, the appellant was bound to take all reasonable steps to mitigate the loss, and one course open to him to mitigate the damage, if he could have afforded to take it, was to have the engine reconditioned or to buy another to replace it. However, his impecuniosity prevented him from taking that course. The question arises whether it should be held that the appellant is [659] debarred from claiming such part of the damages as is attributable to his failure to take the necessary steps in mitigation, when he was unable to take those steps because of his lack of means.

That question must be answered in the negative. In *Liesbosch, Dredger v Edison, SS (Owners)* [1933] AC, pp 460-1 Lord Wright, in dealing with the effect of impecuniosity in the assessment of damages in tort, drew a distinction between the measure of damages and the victim's duty to minimize damage. After referring to a passage from the speech of Lord Collins in *Clippens Oil Co Ltd v Edinburgh and District Water Trustees* [1907] AC 291, at 303, which indicates that a wrongdoer is liable for the consequences flowing from his wrongful act notwithstanding that the victim was unable, by reason of lack of funds, to take the steps necessary to mitigate the loss, Lord Wright went on to say [1933] AC, at 461: "But, as I think it is clear that Lord Collins is here dealing not with measure of damage, but with the victim's duty to minimize damage, which is quite a different matter, the dictum is not in point."

The reason for this distinction is not altogether clear and the distinction has not always been observed: see, eg, *Martindale v Duncan* [1973] 1 WLR 574, at 577; [1973] 2 All ER 355, at 358. However, a plaintiff's duty to mitigate his damage does not require him to do what is unreasonable and it would seem unjust to prevent a plaintiff from recovering in full damages caused by a breach of contract simply because he lacked the means to avert the consequences of the breach. There are in the present case, the additional features that the financial difficulties of the appellant were largely brought about by the actions of the respondent in supplying him with a defective engine and refusing properly to rectify the defects, although the respondent should have known that the appellant lacked the financial resources that would have enabled him to pay to have the engine reconditioned. I respectfully agree with the statement of Megaw LJ in *Dodd Properties v Canterbury City Council* [1980] 1 WLR 433, at 453; [1980] 1 All ER 928, at 935:

> A plaintiff who is under a duty to mitigate is not obliged, in order to reduce the damages, to do that which he cannot afford to do: particularly where, as here, the plaintiffs' "financial stringency", so far as it was relevant at all, arose, as a matter of common sense, if not as a matter of law, solely as a consequence of the defendants' wrongdoing. ((1986) 161 CLR 653 at 660.)

Further, in *Perry v Sidney Phillips & Son* [1982] 1 WLR 1297, at 1307; [1982] 3 All ER 705, at 712, Kerr LJ said:

> If it is reasonably foreseeable that the plaintiff may be unable to mitigate or remedy the consequence of the other party's breach as soon as he would have done if he had been provided with the necessary means to do so from the other party, then it seems to me that the principle of *The Liesbosch* ([1933] AC 449) no longer applies in its full rigour.

… For these reasons it appears to me that the appellant is entitled to recover whatever damage it has been proved that he suffered by way of loss of profits that would otherwise have been earned during the four years of the effective life of the motor. However, there is another reason why the appellant

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did not do all that he reasonably could to mitigate his damage. It was not reasonable for him to carry on his business with the defective prime mover, once he knew that he was operating at a loss and should have known that he had no prospect of making a profit. As Connolly J pointed out, this was not a case of a purchaser locked into a business; the appellant was under no compulsion to go on losing money. In the calculation of damages it was not wrong to hold that the respondent should not be charged with actual losses incurred by the appellant after June 1978, although the appellant was entitled to any loss of profit suffered after that date, if such loss was proved … I would dismiss the appeal.

[27.135] WILSON, DEANE and DAWSON JJ: [666] In this Court counsel for the appellant argued that the Full Court failed to apply the established rule governing the assessment of damages in cases of breach of contract, namely, that the injured party is to be put into the position in which he would have been if the representation had been true. He argued that had the engine been fully reconditioned as warranted, the appellant could have expected to have four years or 200 000 miles of profitable interstate haulage. He was therefore entitled to receive as compensation for the breach of warranty all the net profits he could have expected to receive during those four years and, in addition, reimbursement of the losses he actually suffered in the two years during which he [667] persisted in operating his business at a loss … Counsel for the appellant correctly states the general rule of the common law which forms the starting point of a consideration of the assessment of damages. In *Robinson v Harman* (1848) 1 Ex 850, at 855 [154 ER 363, at 365] Parke B expressed it as being that "where a party sustains a loss by reason of a breach of contract, he is, so far as money can do it, to be placed in the same situation, with respect to damages, as if the contract had been performed". See also *C Czarnikow Ltd v Koufos* [1969] 1 AC 350, at 400, 414, 420. However, the submission overlooks the fact that the general principle is limited by the rule laid down by the Court of Exchequer in *Hadley v Baxendale* (1854) 9 Ex 341, at 354 [156 ER 145, at 151], that is to say:

> Where two parties have made a contract which one of them has broken, the damages which the other party ought to receive in respect of such breach of contract should be such as may fairly and reasonably be considered either arising naturally, ie, according to the usual course of things, from such breach of contract itself, or such as may reasonably be supposed to have been in the contemplation of both parties, at the time they made the contract, as the probable result of the breach of it.

These well-known principles have been discussed by Gibbs J (as his Honour then was) in *Wenham v Ella* (1972) 127 CLR 454, at 471-2. His Honour reminds us that the rule in *Hadley v Baxendale* was expounded in *C Czarnikow Ltd v Koufos*, where Lord Reid said [1969] 1 AC, at 385:

> The crucial question is whether, on the information available to the defendant when the contract was made, he should, or the reasonable man in his position would, have realised that such loss was sufficiently likely to result from the breach of contract to make it proper to hold that the loss flowed naturally from the breach or that loss of that kind should have been within his contemplation.

This was a straightforward contract leading to the acquisition by the appellant of a chattel on hire-purchase. Within a month of his taking possession of the vehicle the appellant returned it to the respondent for repair or replacement of the fuel pump and injectors. His evidence was that he was then told by a servant of the [668] respondent that the engine had not been fully reconditioned. Had he established a breach of warranty at that time, the measure of damages would have been the cost of then reconditioning the engine, about $7 000, together with the resultant loss of profits whilst the vehicle was out of action. The Full Court may have been generous in their approach to the appellant's case in holding that it was not until July 1978 that he was fully apprised of the deplorable state of the engine; on the other hand, the holding may reflect a sensitive appreciation of the difficulty faced by the appellant in his struggle to make a success of the new venture with no financial resources behind him and his consequent inability to face the reality of his situation. But by July 1978 that reality could be disguised no longer.

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We have given careful attention to the sad history of the appellant's experiences with the prime mover but in our opinion the Full Court's decision is not open to attack. It was not a case where the appellant was locked into a situation from which he could not escape, as was the case, eg, in *Doyle v Olby (Ironmongers) Ltd* [1969] 2 QB 158 and in *Gould v Vaggelas* (1985) 157 CLR 215. In each of those cases the injured party was tricked into buying a business and in such cases different considerations may apply. The appellant accepted in July 1978 that he could no longer carry on interstate haulage operations. He decided to commit the vehicle to the less demanding and less profitable operation of carting machinery parts to coal mines in Queensland. If he was then unable to have the engine fully reconditioned, he could have terminated the hiring. Clause 5 of the hire-purchase agreement expressly secured to him the right to terminate the hiring at any time by returning the vehicle in accordance with s 12 of the *Hire Purchase Act 1959* (Qld). There is no reason to suppose that he could not then have received adequate compensation by appropriate action against the respondent.

Furthermore, we think, with respect, that Connolly J was correct in saying that this was not a case of mitigation of damage at all. It called simply for a determination of that point in time, beyond which any damage suffered by the appellant could not be said to have been within the reasonable contemplation of the parties as flowing from the breach. The effect of impecuniosity upon an injured party's obligation to mitigate the damage flowing from a breach of contract was indeed irrelevant to that question. It may have been a relevant consideration if the Full Court had found that the appellant was to be fixed with knowledge of the breach of warranty in August 1977 or at the latest after the breakdown in [669] November 1977. In substance their Honours held that the stage at which the appellant's position had finally crystallized from the point of view of the assessment of damages under the ordinary principles of contract law was reached in July 1978. By then, the damages had come home in that it was obvious that the vehicle should either have been made good or the appellant's possession of it relinquished. Connolly J aptly summed up the matter by saying:

> The respondent [the appellant in this Court] was not, in my judgment, entitled to hang on and charge the appellant with the profits of a business which he himself had abandoned and with losses which he need never have incurred.

… We would dismiss the appeal.

[27.140] BRENNAN J (dissenting): [672] In contract, the starting point of a consideration of the assessment of damages is the general principle that the plaintiff is to be placed in the same situation as if the contract had been performed: *Wenham v Ella* (1972) 127 CLR 454, at 460, 471. The general principle is qualified so as to limit recovery to loss actually resulting which "was at the time of the contract reasonably foreseeable as liable to result from the breach", foreseeability depending on the knowledge of the parties (or of the party who later commits the breach) either imputed or actual: [673] *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd; Coulson & Co Ltd* [1949] 2 KB 528, at 539. The two parts of the rule in *Hadley v Baxendale* (1854) 9 Ex 341, at 354-5; 156 ER 145, at 151 treat of remoteness according to whether the knowledge on which foreseeability depends is knowledge of "the usual course of things" (which is imputed) or knowledge of other circumstances which make a breach liable to cause more loss (which must be actual knowledge). Provided a loss is foreseeable by reason of one or other kind of knowledge, it is not essential to identify which kind establishes foreseeability: cf *Wenham v Ella* (1972) 127 CLR, at 472.

In this case, the respondent knew that the prime mover was to be used by the appellant in inter-capital haulage in order to earn his income. I should have thought that it was manifest to the respondent that if the warranties were broken it was likely that the appellant would lose income which he would have earned and would incur costs that he would not have incurred if the prime mover had answered the warranties. Assuming, consistently with the Full Court's view, that the appellant would have earned profits, it was foreseeable that they would have been earned for the period during which the prime mover would have been fit for the purpose of inter-capital haulage had it been powered by a reconditioned engine. Moynihan J found that period to be four years or, perhaps, four years or the time taken to travel 200 000 miles whichever was the sooner. Losses actually incurred are in a

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different situation. Was it foreseeable that the appellant would persist in the incurring of losses during the whole of that period once it was obvious that he was engaged in a loss enterprise? In other words, do foreseeable losses stop short of the losses incurred at the stage when the injured party, acting reasonably, would mitigate the losses resulting from the breach of warranty? When an act on the part of the person to whom a warranty is given is needed to put an end to losses resulting from breach of the warranty, foreseeability provides no different limitation on damages from the limitation which is imposed by a failure to act reasonably in mitigation of damage. A party who, when he gives a warranty, has such knowledge that he can foresee that the loss which will result from a breach of the warranty will continue until the other party acts to stop the loss, can foresee that the loss will continue until it is reasonable to expect that the injured party will act to stop it. Foreseeability extends until it would be unreasonable for the injured party to fail to act to mitigate his loss, and the onus of proving such a failure is on the party in breach. [674] Unless the respondent showed that the appellant unreasonably failed to avoid the losses incurred after July 1978, those losses were as foreseeable after July 1978 as they were before.

Apart from foreseeability (in the sense explained in *Victoria Laundry* [1949] 2 KB 528), a plaintiff must show that the loss he seeks to recover results from the breach of contract relied on. If the loss results from some extraneous factor, the plaintiff fails to establish the essential causal link between the breach and the loss. It is in reference to this link that it is appropriate to consider *Liesbosch, Dredger v Edison, SS (Owners) ("The Liesbosch")* [1933] AC 449. According to Kerr LJ *(Perry v Sidney Phillips & Son* [1982] 1 WLR 1297, at 1307; [1982] 3 All ER 705, at 712) the authority of what Lord Wright said in *The Liesbosch* is consistently being attenuated in more recent decisions of the Court of Appeal. Whether that be so or not, there is no reason why Lord Wright's speech should be regarded as expressing a general principle limiting the assessment of damages in contract or tort. His Lordship was dealing with an assessment of damages allegedly suffered by the owners of a dredge which was sunk by the negligence of the defendant's steamship. The dredge had been committed to a contract between the owners and the Harbour Board of Patras for the construction of piers and quay walls at Patras. There was no doubt that the owners were entitled to recover the cost of obtaining another dredge to carry out the dredging work involved in performing their contract. A suitable dredge, the Adria, was hired but the plaintiffs incurred an extra expense in working the Adria above the expense which would have been incurred had they purchased a dredge. The question was whether the extra expense was recoverable. The owners incurred the extra expense because they were unable, by reason of impecuniosity, to finance the purchase of a dredge. Lord Wright held against the owners, saying ([1933] AC, at 460):

> But the appellants' actual loss in so far as it was due to their impecuniosity arose from that impecuniosity as a separate and concurrent cause, extraneous to and distinct in character from the tort; the impecuniosity was not traceable to the respondents' acts, and in my opinion was outside the legal purview of the consequences of these acts.

His Lordship was prepared to hold that the owners' financial embarrassment was too remote to be regarded as a consequence of the tort, but he preferred to regard it "as an independent cause" (scil, of the extra expense incurred by the owners in working the [675] Adria). Both remoteness and causation are matters of fact: see his Lordship's observation as to remoteness *in Monarch Steamship Co Ltd v Karlshamns Olje fabriker (A/B)* [1949] AC 196, at 223; *Wenham v Ella* (1972) 127 CLR, at 466 and his Lordship's view of the facts in *The Liesbosch* do not compel a similar finding in other cases.

There is no justification for treating impecuniosity in the present case as being either an extrinsic cause of lost profits after July 1978 or as making those profits too remote. In this case, the cause of the loss of profits from inter-capital haulage after July 1978 was the same as the cause of the loss of profits prior to that time, namely, the unfitness of the prime mover for the purpose. The appellant's decision to engage in supply haulage to central Queensland coal mines was taken in consequence of the unfitness of the prime mover for the warranted purpose. The reasonableness of the decision is critical to the question of mitigation but it is no novus actus which breaks the chain of causation

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between the breach of warranty and the lost profits and losses incurred after July 1978. The finding of fact which Lord Wright was prepared to make in *The Liesbosch* cannot be made here. The appellant's impecuniosity in this case was itself caused by or contributed to by the breach of warranties which founded the action. The appellant's losses incurred prior to July 1978 would have diminished any capacity he might otherwise have had to outlay $7 000 or $8 000 to have the engine reconditioned. The reasoning in *The Liesbosch* cannot be applied to such a case: *Fox v Wood* (1981) 148 CLR 438, at 446.

The limitation placed on the recovery of loss resulting from breach of contract when the loss would have been avoided by the injured party taking reasonable steps to mitigate the loss is not so draconian as to deny recovery to an impecunious victim who, if he were not impecunious, could have avoided the loss but who, being impecunious, has suffered it. The general principle, applicable as well in contract as in tort, is stated by Lord Collins in *Clippens Oil Co Ltd v Edinburgh and District Water Trustees* [1907] AC 291, at 303:

> It was contended that this implied that the defenders were entitled to measure the damages on the footing that it was the duty of the company to do all that was reasonably possible to mitigate the loss, and that if, through lack of funds, they were unable to incur the necessary expense of such remedial measures the defenders ought not to suffer for it. If this were the true construction to put upon the passage cited, I think there would be force in the observation, for in my opinion the wrong-doer must take his victim talem qualem, and if the position of the latter is aggravated because he is without the [676] means of mitigating it, so much the worse for the wrong-doer, who has got to be answerable for the consequences flowing from his tortious act.

The Liesbosch did not impair the authority of this principle, though it has sometimes been thought to do so: see *Martindale v Duncan* ([1973] 1 WLR 574, at 577; [1973] 2 All ER 355, at 358). In *The Liesbosch* Lord Wright referred to Lord Collins' dictum with approval but distinguished it as applying to mitigation, not to causation or remoteness, as Cantley J and Megaw and Donaldson LJJ observed in *Dodd Properties (Kent) Ltd v Canterbury City Council* ([1980] 1 WLR 433, at 443, 453, 459; [1979] 2 All ER 118, at 125; [1980] 1 All ER 928, at 935, 941).

The possible choices which confronted the appellant when he discovered in July 1978 that the engine which had been warranted reconditioned was in fact in a deplorable state were fourfold: to complain to the respondent and request it to recondition the engine, to deliver the prime mover to Esanda and terminate the hire-purchase agreement, to pay sufficient to repair the engine to a condition where the vehicle could be used for haulage work on a reduced scale, or to pay the full cost of reconditioning. Consider each of those choices. The first was not available. Though the appellant sought redress from the respondent it was refused. The respondent's mechanics were called to inspect the engine when it was dismantled in July 1978, but redress was not forthcoming. The second option would have left the appellant without any prospect of working his way out of the Esanda debt. In July 1978 his total liability to Esanda stood at $34 622.15. If the prime mover as warranted had been worth $31 000 in July 1977, it is unlikely that its resale with known defects in July 1978 would have brought enough to discharge the debt which the appellant would have owed Esanda if he had terminated the hire-purchase agreement and Esanda had resold the vehicle. However, it was reasonable to try to haul supplies to the central Queensland coal mines in an effort to earn sufficient to pay out the hire-purchase liability. That was the third choice and the one he took: by revising the hire-purchase agreement in July 1978, he obtained the money to pay for the needed repairs and he thus obtained a chance to use the vehicle profitably. The fourth choice would have involved an outlay of $7 000 to $8 000 which he did not have. He was not bound to take [677] it. I would apply to this case what Megaw LJ said in *Dodd Properties* [1980] 1 WLR, at 453; [1980] 1 All ER, at 935:

> A plaintiff who is under a duty to mitigate is not obliged, in order to reduce the damages, to do that which he cannot afford to do: particularly where, as here, the plaintiffs' "financial

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stringency", so far as it was relevant at all, arose as a matter of common sense, if not as a matter of law, solely as a consequence of the defendants' wrongdoing.

It would be wrong to find that the course taken by the appellant in having some repairs done to the engine in 1978 was an unreasonable step to take in mitigating his loss unless it appeared that he was bound to suffer further losses when he went back on the road. The respondent, on whom the onus lay, did not establish that fact. The respondent submitted that the appellant was losing money on inter-capital haulage in any event and that he was bound to suffer further losses if he went back on the road. What the respondent failed to show was that the appellant was bound to suffer losses when the prime mover went back on the road after July 1978.

Connolly J tested the validity of the assessment of loss terminating in July 1978 by postulating an action immediately prosecuted to judgment at that time. A judgment at that time would have yielded no more than $8 000 for the cost of reconditioning and losses already incurred. Of course, the recovery of the cost of reconditioning would make the adoption of the fourth choice the only reasonable step to take, for the appellant would have had in hand the means of putting an end to future losses and restoring the value of the prime mover. The postulate is invalid, however, for the reasonableness of the steps taken to mitigate must be assessed in the light of the appellant's actual financial situation, not by reference to a supposition which puts in his hands the money which he needed but did not have to put an end to the losses inflicted on him.

It follows that the assessment made by the Full Court must be set aside …

Appeal dismissed with costs.

Attempts at mitigation which increase loss

[27.145] *Simonius Vischer & Co v Holt & Thompson* [1979] 2 NSWLR 322 applies McGregor's second principle of mitigation (at [27.140]), namely that a plaintiff can recover for loss incurred in taking reasonable steps to mitigate her or his loss, even though the resulting damage is greater than it would have been had the mitigating steps not been taken.

Simonius Vischer & Co v Holt & Thompson

[27.150] *Simonius Vischer & Co v Holt & Thompson* [1979] 2 NSWLR 322 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Sheppard J.

[FACTS: The *plaintiffs* were a firm of wool brokers with their head office in Basel, Switzerland. They traded in Sydney in the wool futures market both as brokers and on their own account. Staff in the Sydney office of the firm consistently exceeded their authority in speculative operations and sought to conceal their conduct from the head office. As a result of these unauthorised activities, the firm lost over £200,000. They sued the *defendants*, who acted as the firm's auditors, alleging that the damage arose from the auditor's breach of duty in failing to discover the improper operations of the Sydney office. Breaches of duty in both tort and contract were alleged, but the trial was conducted as one of breach of contract. Sheppard J found for the plaintiffs. In the Court of Appeal, a number of issues were considered, but the case is extracted only on the mitigation point.]

SAMUELS JA: [355] The defendants next submitted that the plaintiffs had failed to act reasonably to mitigate their damage, reliance being placed upon the following circumstances which are not in dispute. In June 1965, as a result of the defendants' failure to reveal the Sydney office's excessive jobbing, the plaintiffs held a very large number of open jobbing contracts. They surveyed the market and concluded that it was likely to fall; and decided to hold the contracts in order to minimise the

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losses which would have been occasioned by an immediate closing out of all contracts. In fact the plaintiffs' prognosis was wrong; the market moved against them.

The defendant submitted that it was the plaintiffs' duty to close out all contracts once they had ascertained their position, and the degree to which they were at risk. Their decision to hold in anticipation of a favourable turn in the market meant that, thereafter, they retained these contracts as a speculation on their own account, so that the further losses which were incurred were not recoverable.

The learned judge found that the defendants had not proved that the plaintiffs' conduct was unreasonable. He evidently bore in mind that the situation in which the plaintiffs were placed was a consequence of the jobbing in excess of authority which the defendants' breaches had facilitated. The plaintiffs had to determine how they could best reduce the losses which had then accrued by reason of their large excess of sold contracts, and the price at which it would have been necessary to buy matching contracts. Their decision, his Honour found, was reasonably and bona fide made in an endeavour to restore their trading position at a time when they had not finally determined to sue the defendants, and were primarily concerned to secure their own situation.

In making this finding, Sheppard J applied the well known dictum of Lord Macmillan in *Banco de Portugal v Waterlow & Sons Ltd* [1932] AC 452 at 506. His Lordship said:

> Where the sufferer from a breach of contract finds himself in consequence of that breach placed in a position of embarrassment the measures which he may be driven to adopt in order to extricate himself ought not to be weighed in nice scales at the instance of the party whose breach of contract has occasioned the difficulty. It is often easy after an emergency has passed to criticise the steps which have been taken to meet it, but such criticism does not come well from those who have themselves created the emergency. The law is satisfied if the party placed in a difficult situation by reason of the breach of a duty owed to him has acted reasonably in the adoption of remedial measures, and he will not be held disentitled to recover the cost of such measures merely because the party in breach can suggest that other measures less burdensome to him might have been taken.

I think that that statement has considerable point in this case … and I am not at all disposed to think that the learned judge's conclusion was wrong.

The consequence, therefore, is that, as a result of reasonable steps to mitigate their damage, the plaintiffs suffered a further loss of money … [356] I think that the principle is that stated in *McGregor on Damages* (13th ed), p 167, para 237, namely that recovery is allowed: "for losses and expenses reasonably incurred in mitigation even although the resulting damage is in the event greater than it would have been had the mitigating steps not been taken."… It would seem to follow that, once the plaintiffs' conduct is found to have been reasonable, the defendants are bound to make good the loss thereby sustained. The defendants, however, contend that this result, which, I emphasise, is wholly supported by the principles to which I have referred, is ousted by the application of two cases: *British Westinghouse Electric and Manufacturing Co Ltd v Underground Electric Railways Co of London Ltd* [1912] AC 673, and *Jamal v Moolla Dawood* [1916] 1 AC 175. In the [357] *British Westinghouse case*, the plaintiff replaced deficient turbines which the defendant had supplied in breach of warranty, by others of greater power and efficiency which reduced operating costs and increased the plaintiff's profits. The plaintiff's claim to recover the cost of the substitutes as a consequential loss (no dispute arising as to the plaintiff's right to recover loss incurred by reason of the original turbines operating inadequately during their years of use) was rejected, because the consequential gain in profits and saved expenses was to be taken into account, and on balance no net loss was incurred on the purchase of the substitutes. Viscount Haldane LC said (at 689): when in the course of his business he (the plaintiff) has taken action arising out of the transaction, which action has diminished his loss, the effect in actual diminution of the loss he has suffered may be taken into account even though there was no duty on him to act.

I do not consider that the *British Westinghouse case* governs this case. First, it applies the rule (which has no present application) that there can be no recovery for loss which the plaintiff has in

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fact avoided, unless the benefit obtained is wholly collateral (for example, the proceeds of insurance (*Bradburn v Great Western Railway Co* (1874) LR 10 Exch 1)), which explains Viscount Haldane's later statement (at 690 and 691) that the benefit "must be one arising out of the consequences of the breach and in the ordinary course of business", and must "arise out of the transactions the subject matter of the contract". There is no question in the present case of a nett avoided loss, and it does not follow that Viscount Haldane's statement has any application to loss incurred (not avoided) in a reasonable attempt to mitigate.

Secondly, in the *British Westinghouse case*, the plaintiff claimed the loss caused by the excessive operating costs of the defective turbines while the plaintiff was using them prior to the installation of the new turbines. This claim was, in substance, one for a loss of profits which would have continued while the plaintiff continued to use the defendant's turbines, at least during their estimated life. But the plaintiff, in order to maintain that claim, was bound to show that it had taken reasonable steps in mitigation by acquiring a substitute. This the plaintiff did. It did acquire substitutes. Its final claim was to recover its loss of profit (arising from excessive costs) up to the installation of the new turbines, as to which there was no dispute; and, in addition, the cost of obtaining the new turbines. And the ratio of the case was that, since the new turbines were markedly superior to the old (even if the old turbines had been up to standard), the savings in cost, and consequential gain in profits, thereby obtained must be brought to account in reduction of the plaintiff's damages. In effect, the plaintiff's claim for loss of profits, which the purchase of new turbines mitigated, was diminished.

This reasoning has no application to the present case, where the measure of damages has been quite differently formulated, there being no claim for any loss of the profits which the plaintiffs would have earned had the defendants performed their contract, save for one immaterial exception.

Jamal v Moolla Dawood Sons & Co is no more than an illustration of the normal measure of damages where a buyer wrongfully [358] refuses to accept goods, which is prima facie the difference between the contract price and the market price at the date of the breach; the loss being crystallised at that point subsequent events are irrelevant: see s 52(2) and (3) of the *Sale of Goods Act 1923* and *R Pagnan & Fratelli v Corbisa Industrial Agropacuaria Limitada* [1970] 1 WLR 1306 at 1314; [1970] 1 All ER 165 at 169. That rule does not apply to the present case … [367] I would therefore dismiss the appeal …

Appeal dismissed.

Mitigation and subsequent transactions

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[27.155] *Clark v Macourt* [2013] HCA 56; (2013) 253 CLR 1 – Appeal from the Supreme Court of New South Wales Court of Appeal (Hayne, Crennan, Bell, Gageler and Keane JJ).

HAYNE J: [1] The appellant and respondent were registered medical practitioners who each specialised in providing assisted reproductive technology services. In 2002, the appellant agreed to buy assets of St George Fertility Centre Pty Ltd, a company which was controlled by the respondent and which provided medical and assisted reproductive technology services to patients. The company ("the vendor") agreed to sell certain assets of the practice, including a stock of frozen donated sperm. The respondent guaranteed the vendor's obligations under the contract.

[2] The vendor warranted that the identification of donors of the sperm complied with specified guidelines. There is now no dispute that, of the stock of sperm delivered, 1,996 straws which the appellant would have expected to be able to use were not as warranted and were unusable.

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[3] The appellant could not buy suitable replacement sperm in Australia but could in the United States of America. The primary judge found that buying 1,996 straws of replacement sperm from the American supplier ("Xytex") would have cost about $1 million at the time the contract was breached. The purchase price for the assets (including the stock of frozen donated sperm) was less than $400,000. The appellant accepted that ethically she could not charge, and in fact had not charged, any patient a fee for using donated sperm greater than the amount the appellant had outlaid to acquire it.

[4] How should the appellant's damages for breach of warranty be fixed?

The proceedings

[5] In the Supreme Court of New South Wales, Macready AsJ entered judgment for the appellant against the vendor for breach of warranty, and against the respondent as guarantor of the vendor's obligations, for damages to be assessed. Those orders were not the subject of appeal. On the assessment of damages, the primary judge (Gzell J) assessed (*St George Fertility Centre Pty Ltd v Clark* [2011] NSWSC 1276) the damages for breach of warranty as the amount that the appellant would have had to pay Xytex (at the time the contract was breached) to buy 1,996 straws of sperm. On appeal, the Court of Appeal (Beazley and Barrett JJA and Tobias AJA) held (*Macourt v Clark* [2012] NSWCA 367) that the appellant should have no damages for the vendor's breach of warranty. The appellant had bought straws of sperm from Xytex to use in treating patients and had charged each patient a fee which covered the costs the appellant had incurred in buying the straws that were used in treating that patient. The Court of Appeal held that the appellant had thus avoided any loss she would otherwise have sustained.

[6] By special leave, the appellant appealed to this court seeking orders reinstating the award of damages made by the primary judge. The appeal should be allowed.

Principles

[7] At no stage of this litigation has either party submitted that the assessment of the damages due for the vendor's breach of contractual warranty called for the modification of any principle, let alone the application of some new principle. There was, therefore, no dispute in this court, or in the courts below, that a plaintiff who sues for breach of contract is to be awarded as damages "that sum of money which will put the party who has been injured ... in the same position as he [or she] would have been in if he [or she] had not sustained the wrong for which he [or she] is now getting his [or her] compensation or reparation" (*Livingstone v Rawyards Coal Co* (1880) 5 App Cas 25 at 39). Nor was there, or could there have been, any dispute that when a contract has been breached, the position in which the plaintiff is to be put, by an award of damages, is the position in which the plaintiff would have been if the contract had been performed (*Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272 at 286 [13]; [2009] HCA 8. See also *Robinson v Harman* (1848) 1 Exch 850 at 855; 154 ER 363 at 365).

[8] The only dispute between the parties was about how these principles were to be applied in this case. Any difficulty encountered in applying these principles stems ultimately from the failure, when speaking of "compensation" for "loss", to identify what "loss" is being compensated. Identification of the relevant loss does not depend (as much of the respondent's argument assumed) on whether the contract can be classified as a contract for the sale of goods.

[9] Three different forms of "loss" might be identified. First, there might be a loss constituted by the amount by which the promisee is worse off because the promisor did not perform the contract. That amount would include the value of whatever the promisee outlaid in reliance on the promise being fulfilled. Second, the loss might be assessed by looking not at the promisee's position but at what the defaulting promisor gained by making the promise but not performing it. Third, there is the loss of the value of what the promisee would have received if the promise had been performed.

[10] Subject to some limitations, none of which was said to be engaged in this case, damages for breach of contract must be measured (*Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236

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CLR 272 at 286 [13]) by reference to the third kind of loss: the loss of the value of what the promisee would have received if the promise had been performed.

[11] As Professor Fuller and Mr Perdue wrote, (Fuller and Perdue, "The Reliance Interest in Contract Damages: 1" (1936) 46 *Yale Law Journal* 52 at 53) many years ago:

> This seems on the face of things a queer kind of "compensation". ... In actuality the loss which the plaintiff suffers (deprivation of the expectancy) is not a datum of nature but the reflection of a normative order. It appears as a "loss" only by reference to an unstated ought. Consequently, when the law gauges damages by the value of the promised performance it is not merely measuring a quantum, but is seeking an end, however vaguely conceived this end may be.

As those authors demonstrated (Fuller and Perdue, "The Reliance Interest in Contract Damages: 1" (1936) 46 *Yale Law Journal* 52 at 62), the protection which the law thus gives to the expectation that a contract will be performed can be seen as resting on, first, "the need for curing and preventing the harms occasioned by reliance" upon the expectation of performance, and second, "on the need for facilitating reliance on business agreements". The loss which is compensated reflects a normative order in which contracts must be performed.

Valuing what should have been received

[12] Under the contract which the appellant made, she should have received 1,996 more straws of sperm having the warranted qualities than she did receive. The relevant question in the litigation was: what was the value of what the appellant did not receive? The answer she proffered in this court was that it was the amount it would have cost (at the date of the breach of warranty) to acquire 1,996 straws of sperm from Xytex. That answer should be accepted.

[13] The answer depends upon determining the content of the unperformed promise. The answer does not depend upon whether the contract can be described as one for the sale of goods or for the sale of a business. How much the appellant paid for the benefit of the promise is not relevant. It does not matter whether the value of what she did not receive was more than the price she had agreed to pay under the contract or (if it could have been determined) the price she had agreed to pay for the stock of sperm. The extent to which the appellant could have turned the performance of the promise to profit would be relevant only if the appellant had claimed for loss of profit. She did not. She sought, and was rightly allowed by the primary judge, the value of what should have been, but was not, delivered under the contract.

Mitigation?

[14] As already noted, however, the Court of Appeal concluded ([2012] NSWCA 367 at [127] per Tobias AJA (Beazley and Barrett JJA agreeing)) that the appellant had *mitigated* her loss by buying replacement sperm from Xytex. In respect of "the loss of each straw of replacement sperm actually sourced from Xytex" before the date of assessment of damages, Tobias AJA concluded that the chief component of the appellant's "loss" would be "the sum (if any) representing that part of the overall cost of acquisition of that straw not recouped from a patient". And in respect of "the residue of the 'lost' 1996 straws over and above those in fact replaced by Xytex sperm up to the date of trial", Tobias AJA concluded ([2012] NSWCA 367 at [129]) that "the appropriate course would have been to assume that [the appellant] would continue to source straws of donor sperm from Xytex at a cost consistent with that which had prevailed since August 2005, and that she would continue to recoup from patients the same proportion of that cost as she had done in the past" ([2012] NSWCA 367 at [130]). On this footing, Tobias AJA concluded ([2012] NSWCA 367 at [130]) that the appellant's damages in respect of straws not "replaced" would be "the aggregate of the discounted present value of the *un-recouped* balances (if any) of that cost as at the date of their assessment" (emphasis added).

[15] Two points must be made about this analysis. First, the calculations described would reveal whether, and to what extent, the appellant was, or would be, worse off as a result of the breach of warranty. That is, the calculations of the net amount which the appellant had outlaid, and would

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thereafter have to outlay, would reveal the amount needed to put the appellant in the position she would have been in if the contract had not been made. The calculations would not, and did not, identify the value of what the appellant would have received if the contract had been performed.

[16] Second, the reference to mitigation of damage was apt to mislead. In order to explain why, it is necessary to say something about what is meant by "mitigation" of damage.

[17] For present purposes, "mitigation" can be seen as embracing two separate ideas (cf *Chitty on Contracts*, 31st ed (2012), Vol 1 at 1805-1806 [26-077]). First, a plaintiff cannot recover damages for a loss which he or she ought to have avoided, and second, a plaintiff cannot recover damages for a loss which he or she did avoid.

[18] The Court of Appeal's analysis, and the respondent's argument in this court, both depended upon engaging the second of these propositions. In this court, the respondent submitted, correctly, that it is a proposition recognised in the speech of Viscount Haldane LC in *British Westinghouse Electric and Manufacturing Co Ltd v Underground Electric Railways Co of London Ltd* [1912] AC 673 at 689-690. But there remains for consideration how the proposition applied in this case.

[19] The appellant's subsequent purchases and use of replacement sperm left her neither better nor worse off than she was before she undertook those transactions. In particular, unlike British Westinghouse and other cases referred to (*Staniforth v Lyall* (1830) 7 Bing 169; 131 ER 65; *Erie County Natural Gas and Fuel Co v Carroll* [1911] AC 105; *Wertheim v Chicoutimi Pulp Co* [1911] AC 301) in the speech of Viscount Haldane, the appellant obtained no relevant benefit from her subsequent purchases of sperm. The purchases replaced what the vendor had agreed to supply.

[20] The purchase price paid for the replacement sperm revealed the value of what was lost when the vendor did not perform the contract. But the commercial consequences flowing from the appellant's subsequent use of those replacements would have been relevant to assessing the value of what should have been supplied under the contract only if she had obtained some advantage from their use, or if she had alleged that the replacement transactions had left her even worse off than she already was as a result of the vendor's breach.

[21] If she had obtained some advantage, the value of the advantage would have mitigated the loss she otherwise suffered. If she had been left even worse off (for example by losing profit that otherwise would have been made), that additional loss may have aggravated her primary loss. But the appellant was not shown to have obtained any advantage from the later transactions and she did not claim that they had left her any worse off. Those transactions neither mitigated nor aggravated the loss she suffered from the vendor not supplying what it had agreed to supply. The value of that loss was revealed by what the appellant paid to buy replacement sperm from Xytex.

[22] Showing that the appellant had charged, or could charge, third parties (her patients) the amount she had paid to acquire replacement sperm from Xytex was irrelevant to deciding what was the value of what the vendor should have, but had not, supplied. If the contract had been performed according to its terms, the appellant would have had a stock of sperm having the warranted qualities which she could use as she chose. She could have stored it, given it away or used it in her practice. In particular, she could have used it in her practice and charged her patients nothing for its supply. But because the vendor breached the contract, the appellant could put herself in the position she should have been in (if the contract had been performed) only by buying replacement sperm from Xytex. Whatever transactions she then chose to make with her patients are irrelevant to determining the value of what should have been, but was not, provided under the contract.

Conclusion

[23] For these reasons, and for the reasons given by Keane J (with which I agree generally), the appeal should be allowed. Consequential orders should be made in the terms sought by the appellant.

[27.160] CRENNAN and BELL JJ: … [25] The issue on the appeal is the measure of damages recoverable by the appellant, as purchaser of assets of a business, when the vendor promised to deliver stock complying with a warranty, but did not do so. We agree that the assessment of damages

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undertaken by the primary judge required assessment of the value of what should have been delivered in accordance with the vendor's contractual promise to the appellant (reasons for judgment of Keane J at [111]; see also reasons for judgment of Hayne J at [13]).

[26] The applicable principle, confirmed in *Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* and traceable to *Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272 at 286 [13]; [2009] HCA 8 is that damages for breach of contract are to put the promisee, so far as money can do it, in the same situation as if the contract had been performed as promised. Different, even cumulative, heads of damage may be pleaded by a plaintiff, depending on the type of contract involved and the kinds of breach and damage occasioned, provided there is no double recovery.

[27] In *Commonwealth v Amann Aviation Pty Ltd* ((1991) 174 CLR 64 at 82; [1991] HCA 54) Mason CJ and Dawson J said:

> "expectation damages", "damages for loss of profits", "reliance damages" and "damages for wasted expenditure" are simply manifestations of the central principle enunciated in *Robinson v Harman* rather than discrete and truly alternative measures of damages which a party not in breach may elect to claim.

Their Honours went on to observe that the corollary of the principle in *Robinson v Harman* is that a plaintiff is not entitled, by an award of damages for breach of contract, to be placed in a superior position to that in which he or she would have been had the contract been performed ((1991) 174 CLR 64 at 82). The plaintiff's loss must be genuine (*Radford v De Froberville* [1977] 1 WLR 1262 at 1270; [1978] 1 All ER 33 at 42) and the expenses incurred in putting himself or herself in the position in which he or she would have been, had the contract been performed, must be reasonable (*Erie County Natural Gas and Fuel Co v Carroll* [1911] AC 105 at 118; *Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272 at 288-290 [17]-[19]). The onus of proof in respect of a claim for contract damages is on the plaintiff (*Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64 at 80 per Mason CJ and Dawson J).

[28] It is the plaintiff's objectively determined expectation of recoupment of expenses which is protected by an award of damages for loss of a bargain (*Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64 at 85 per Mason CJ and Dawson J). This explains the prima facie measure of damages at common law in respect of a sale of goods stated in *Barrow v Arnaud* ((1846) 8 QB 595 at 609-610; 115 ER 1000 at 1006; see also *Hussey v Eels* [1990] 2 QB 227; see further McGregor, *McGregor on Damages*, 18th ed (2009) at 780 [20-004]), and codified subsequently in sale of goods legislation. The measure is the market price of goods at the contractual time for delivery, less the contract price (if the latter has not been paid to the seller). This is the amount of money theoretically needed to put the promisee in the position which would have been achieved if the contract had been performed. Subject to being displaced for some reason, this is the applicable measure, notwithstanding the circumstance that a buyer is a non-profit organisation (*Diamond Cutting Works Federation Ltd v Triefus & Co Ltd* [1956] 1 Lloyd's Rep 216) or that the buyer is constrained in relation to market regulation and control as to the price at which the buyer could sell to a subsequent purchaser (*British Motor Trade Association v Gilbert* [1951] 2 All ER 641; *Mouat v Betts Motors Ltd* [1959] AC 71 at 82).

[29] Whilst the second limb of *Hadley v Baxendale* ((1854) 9 Exch 341; 156 ER 145) in respect of indirect loss is frequently invoked on behalf of a buyer when a figure higher than the normal measure of damages should apply, there is no reason in principle why it cannot also be relied on by a seller if the facts and circumstances are such that a figure lower than, or different from, the normal measure of damage should apply—for example, when the actual loss suffered is less than the prima facie measure of damages (*Bence Graphics International Ltd v Fasson UK Ltd* [1998] QB 87; cf *Slater v Hoyle & Smith* [1920] 2 KB 11; see also McGregor, *McGregor on Damages*, 18th ed (2009) at 816-818 [20-065]-[20-067]; Beale (ed), *Chitty on Contracts*, 31st ed (2012), vol 2 at 1666 [43-452]).

[30] Resolution of this appeal does not turn on any distinction between a contract for the sale of goods and a contract for the sale of a business, or on the respondent's invocation of the second limb

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of *Hadley v Baxendale* (1854) 9 Exch 341; 156 ER 145 on the basis that replacement costs of non-compliant sperm would be passed on to patients. It is sufficient to dispose of the appeal on the basis that no facts or circumstances were proven which displaced the application of the normal measure of contract damages put forward by the appellant.

[31] It was uncontroversial that, at all material times, assisted reproductive technology businesses conducted in New South Wales were subject to a statutory and regulatory regime. The appellant, as cross-claimant, obtained summary judgment in her favour, by consent, on the basis of admissions that the St George sperm failed to comply with the extant regulatory regime (Code of Practice for Assisted Reproductive Technology Units of the Reproductive Technology Accreditation Committee). In seeking summary judgment against the vendor and the respondent (as guarantor) on the basis of certain claims, the appellant abandoned other claims including a claim for loss of profits in respect of embryos, a claim for loss of profits in respect of donor sperm having been abandoned at some point earlier in time.

[32] This reduced the issue before the primary judge to an assessment of the value of the St George sperm which had not been delivered in accordance with the vendor's warranty. On the nature of the damages claimed, the appellant's pleadings stated:

> the damages ... are in the nature of compensation which, so far as possible gives her the benefit of her bargain under the Deed by giving her, so far as money is capable of doing so, something equivalent to the value of the worthless Sperm delivered to her, as opposed to damages to compensate her specifically for her outlay to Xytex (the amount actually paid and payable to Xytex being no more than evidence of an appropriate measure of damages).

[33] The applicable regulatory scheme was such that a medical practitioner treating a patient was ethically bound not to treat donor sperm as a commodity, by profiting when using donor sperm for a patient's treatment. It also appeared to be uncontroversial that costs in relation to donor sperm which might be passed on to a patient included the costs of acquisition of donor sperm and related items such as storage costs.

[34] The appellant gave evidence that Xytex Corporation ("Xytex") operated a business in which Xytex supplied donated sperm to buyers, which included both patients and medical practitioners. The appellant also gave uncontested evidence that in her business, during the period from 2002 to 2005, she used donor sperm from different local and overseas sources which included the St George sperm, her clinic's stock and stock obtained from Cryos International Sperm Bank, Queensland Fertility Clinic, Westmead Fertility Centre and Xytex. The appellant gave evidence that she did not make a profit from patients when using donor sperm which she had purchased and that there was always a "buffer" between the real costs to her and those passed on to a patient. Evidence was also given by and on behalf of the appellant of unsuccessful efforts to recruit local sperm donors through newspaper advertising in 2005, when the appellant had exhausted her stock of St George sperm which complied with the warranty. Further, evidence that a shortage of donors was occasioned in 2005 by requirements for donor identification was not disputed.

[35] The respondent conceded in the Court of Appeal of the Supreme Court of New South Wales that some part of the sale price for the assets of the business related to the transfer of the St George sperm from the business to the appellant. Further, there was no issue that the appellant had used 504 straws of St George sperm which had complied with the warranty given.

[36] In leading evidence of the costs of acquiring the Xytex sperm, the appellant discharged the onus on her to show the recoupment costs necessary to restore her to the position in which she would have been, absent the vendor's breach of warranty.

[37] It was conceded that the costs of Xytex sperm which the appellant passed on to patients equalled the acquisition and other costs incurred by her. Importantly, contested issues concerning the Xytex sperm appeared not to include an assertion that the appellant could have obtained replacement sperm more cheaply than she acquired such sperm from Xytex. The emphasis in the respondent's case

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was otherwise. It was contended on behalf of the respondent that Xytex sperm was not compliant with regulatory guidelines. That challenge failed before the primary judge. Then, it was contended that, since the appellant could pass on to patients the reasonable costs of procuring the replacement sperm, she had wholly mitigated her loss. This was the basis of the respondent's success in the Court of Appeal. Such an approach fails to take into account that the circumstances of the appellant's subsequent dealings with patients did not avoid, or increase or diminish, the loss of her bargain for delivery of St George sperm which was compliant with the warranty.

[38] Regulatory constraints on a promisee's subsequent dealings with goods have no necessary relationship with the market price which a promisee may pay to be in as good a position as if a promisor had performed. In *Mouat v Betts Motors Ltd*, on behalf of the Privy Council, Lord Denning described the entitlements of a buyer of goods claiming the normal measure of contract damages, when the market in such goods is subject to price controls. He said:

> It does not lie in [the seller's] mouth to say that, if he had fulfilled his covenant, the [buyers] could only resell the car for £1,207. That was a matter peculiar to the [buyers] which was no concern of his. The [buyers] were entitled in law to be put into as good a position as if he had fulfilled his covenant: and to do this they were entitled to go into the market and buy a similar car at the market price ... This rule applies even though the only available market is a surreptitious market which is fed by persons who have broken their covenants.

[39] Issue having been joined, and the forensic contest having been fought as described, there was neither cross-examination of the appellant, nor production of any evidence in chief on behalf of the respondent, directed to the proposition that the acquisition costs of Xytex sperm were not an appropriate proxy for the value of the St George sperm, had it been compliant with the vendor's warranty. There being no evidence on the point, the respondent cannot sustain an argument that the measure of damages proven by the appellant was not the correct measure to be applied or that it should be displaced by some other measure. The submission, in the respondent's notice of contention, that "the cost of the acquisition of replacement Xytex sperm was not an appropriate proxy" for the value of the St George sperm must be rejected. There was no error in the decision of the primary judge.

[27.165] GAGELER J: [40] This appeal concerns the measure of damages for breach of a warranty in a contract for the sale of a business. Its unusual facts give rise to unusual difficulties. ...

Analysis

[59] Choosing between the competing approaches of the primary judge and of the Court of Appeal requires a return to first principles: *Haines v Bendall* (1991) 172 CLR 60 at 63; [1991] HCA 15 (references omitted):

> The settled principle governing the assessment of compensatory damages, whether in actions of tort or contract, is that the injured party should receive compensation in a sum which, so far as money can do, will put that party in the same position as he or she would have been in if the contract had been performed or the tort had not been committed. Compensation is the cardinal concept. It is the "one principle that is absolutely firm, and which must control all else". Cognate with this concept is the rule, described ... as universal, that a plaintiff cannot recover more than he or she has lost.

[60] The assessment of compensatory damages for breach of contract at common law is accordingly subject to the "ruling principle" that the injured party "is, so far as money can do it, to be placed in the same situation, with respect to damages, as if the contract had been performed" (*Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272 at 286 [13]; [2009] HCA 8, quoting *Robinson v Harman* (1848) 1 Ex 850 at 855; 154 ER 363 at 365) as well as to its corollary that the injured party "is not entitled, by the award of damages upon breach, to be placed in a superior position to that which he or she would have been in had the contract been performed" (*Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64 at 82; [1991] HCA 54).

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[61] The "expectation interest" sometimes identified as protected by an award of damages for breach of contract at common law is a reflection of that ruling principle and of its corollary. The expectation interest is no less, but no more, than the interest protected by seeking "to give [a] promisee the value of the expectancy which the promise created" (Fuller and Perdue, "The Reliance Interest in Contract Damages: 1" (1936) 46 *Yale Law Journal* 52 at 54). In other words, it is the interest of the injured party "in having the benefit of [the contractual] bargain by being put in as good a position as he [or she] would have been in had the contract been performed" (*Restatement, 2nd*, Contracts, §344).

[62] The common law does not compensate an injured party for the non-fulfilment of an expectation which could not reasonably be supposed to have been within the contemplation of other parties when they made the contract as the probable result of breach (*European Bank Ltd v Evans* (2010) 240 CLR 432 at 438 [12]-[13]; [2010] HCA 6, referring to *Hadley v Baxendale* (1854) 9 Ex 341; 156 ER 145). That limitation can for present purposes be put to one side.

[63] Dr Clark accepts the Court of Appeal's identification of her loss as the cost to her of acquiring replacement sperm from an alternative source, and properly points out that her need to acquire replacement sperm from an alternative source can reasonably be supposed to have been within the contemplation of all parties, when they made the contract in 2002, as the probable result of breach of warranty by the company. Dr Clark has at no stage suggested that her loss is to be identified as the difference between the value of the business she acquired and the value of the business for which she contracted (*Senate Electrical Wholesalers Ltd v Alcatel Submarine Networks Ltd* [1999] 2 Lloyd's Rep 423 at 429) and at an early stage abandoned a claim that a component of her loss was consequential loss of profits in the conduct of her business. She has at every stage sought substantial, not merely nominal, damages.

[64] Dr Macourt, for his part, points to the remarkable prospect of being saddled, if the primary judge's measure were to be upheld, with an obligation to pay Dr Clark $1,020,252.70 in damages as a consequence of the company in effect failing to deliver one asset of a business which the company ended up selling to Dr Clark for a total price of only $386,950.91. But Dr Macourt does not seek to attach any particular legal significance to the disparity between those two figures (Cf *Ruxley Electronics and Construction Ltd v Forsyth* [1996] AC 344, referred to in *Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272 at 289 [18]).

[65] The precise question in the appeal, given the way in which issue has been joined between the parties, is therefore limited to asking: which of the competing approaches to the assessment of damages adopted by the primary judge and by the Court of Appeal goes furthest in placing Dr Clark, so far as money can achieve the result, in the same position she would have been in had the company complied with its contractual obligation and had she thereby been able to use in the normal course of her practice a further 1,996 straws of the frozen sperm delivered to her by the company?

[66] In answering that question, statements of subsidiary principle framed in the context of working out the ruling principle in standard categories of case must be approached with circumspection (*Wenham v Ella* (1972) 127 CLR 454 at 467; [1972] HCA 43, quoting *Monarch Steamship Co Ltd v Karlshamns Oljefabriker (A/B)* [1949] AC 196 at 223). There is, as has often been pointed out, "a danger in elevating into general principles what are in truth mere applications to particular facts or situations of the overriding general principle" (*Radford v De Froberville* [1977] 1 WLR 1262 at 1270; [1978] 1 All ER 33 at 42, citing *Admiralty Commissioners v SS Susquehanna* [1926] AC 655 at 661 and *Admiralty Commissioners v SS Chekiang* [1926] AC 637 at 643-644). The measure appropriate in a particular case "cannot be divorced from the [claimant's] personal position and obligations, both legal and moral, or from what the [claimant] ought reasonably to do by way of mitigation" ([1977] 1 WLR 1262 at 1270; [1978] 1 All ER 33 at 42), and a rigid distinction cannot always be drawn between measure and mitigation ([1977] 1 WLR 1262 at 1272-1273; [1978] 1 All ER 33 at 44).

[67] To measure a buyer's damages as the difference, as at the date of delivery, between what the buyer would have obtained in a hypothetical sale of contractually non-compliant goods delivered

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and what the buyer would have paid in a hypothetical purchase to obtain delivery of contractually compliant goods from another seller is ordinarily appropriate in the standard category of case where a seller fails to deliver marketable goods to a buyer in compliance with a contractual warranty (*Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272 at 286 [13]. See also *Wertheim v Chicoutimi Pulp Co* [1911] AC 301 at 307-308; *Slater v Hoyle & Smith* [1920] 2 KB 11). That is because the measure ordinarily gives to the buyer the monetary equivalent of the value to the buyer of the performance of the contract by the seller. The value to the buyer of having ownership of, and control over, contractually compliant goods that can be bought and sold in a market as at the time of delivery ordinarily equates to the market value of those goods at that date. The market value of goods is not ordinarily dependent on circumstances peculiar to an individual seller or individual buyer. Accordingly, it ordinarily makes no difference why the buyer chose to purchase the goods (*Tabcorp Holdings Ltd v Bowen Investments Pty Ltd* (2009) 236 CLR 272 at 287-288 [16]) or whether the buyer could be expected actually to realise the monetary equivalent of that value by re-selling or otherwise disposing of the goods (Eg, *Diamond Cutting Works Federation Ltd v Triefus & Co Ltd* [1956] 1 Lloyd's Rep 216 at 227).

[68] This case does not fit within that standard category. The critical difference does not lie in the difference between a sale of goods and the sale of a business or in such difficulty as may exist in allocating some part of the overall purchase price for the business to a particular asset. The critical difference lies in the limited value to the buyer (Dr Clark) of the performance of the contract by the seller (the company) given the peculiar nature of the asset (frozen sperm) which the company was obliged to deliver under the contract.

[69] There is no suggestion that the frozen sperm was of any use to Dr Clark, or would have been of any use to another purchaser of the company's assets, other than for the treatment of patients in the normal course of practice. In using frozen sperm for the treatment of patients, Dr Clark was in 2002 ethically bound not to charge patients more than the costs and expenses of acquiring the sperm, whatever those costs and expenses happened to be. Dr Clark's evidence before the primary judge about those ethical obligations was unequivocal. She considered it unethical to profit from buying or selling sperm, was not doing so, and had never done so. A technical submission made on her behalf, that the ethical guidelines published by the National Health and Medical Research Council, on their proper construction, did not have that effect, is to be rejected. The guidelines had the effect Dr Clark acknowledged in her evidence.

[70] The value to Dr Clark of the company delivering frozen sperm in 2002 in compliance with the contract could not, in those circumstances, be equated with the value to a buyer of having dominion over contractually compliant goods of a nature which would be available to be re-sold by the buyer in a market at the time of delivery. The value to Dr Clark of the company delivering contractually compliant frozen sperm lay rather in Dr Clark gaining control over a stock of frozen sperm which she could then use for the treatment of her patients in the normal course of her practice. That is to say, if she had been able to take possession from the company of contractually compliant frozen sperm, Dr Clark would have had the benefit of being relieved of the need thereafter to source sperm from somewhere else as and when she needed sperm to treat her patients.

[71] The primary judge found that the company's failure to deliver 3,500 contractually compliant straws of frozen sperm deprived Dr Clark of the expected use in the normal course of her practice of 1,996 of those straws. To what extent was Dr Clark worse off in that factual position of non-fulfilment of her contractual expectation of taking possession of frozen sperm of which she could have used 1,996 straws in the normal course of her practice than she would have been in the counterfactual position of having that contractual expectation fulfilled? Dr Clark was worse off to the extent that later she was forced to incur, but was not able to recoup from her patients, the additional costs of sourcing 1,996 straws of sperm from an alternative supplier.

Conclusion

[72] The appropriate measure of Dr Clark's loss is so much of the cost to Dr Clark of sourcing 1,996 straws of replacement sperm for the treatment of her patients as she had been, and would be, unable

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to recoup from those patients. That measure, adopted by the Court of Appeal, is appropriate because it yields an amount which places Dr Clark in the same position as if the contract had been performed so as to provide her with the expected use in the normal course of her practice of 1,996 straws of the frozen sperm delivered to her by the company.

[73] To Dr Clark's protest that adoption of that measure leaves her without an award of damages in circumstances where the company has been found to have breached its warranty, the answer lies in the way she has chosen to put her case. She has made a forensic choice to eschew the measure which, together with the Court of Appeal, I would hold to be the appropriate measure.

[74] The appeal should be dismissed with costs.

Appeal allowed.

[KEANE J also agreed that the appeal should be allowed and consequential orders should be made.]

[27.170] **Note**

For different views on this judgment, see Barnett, "Contractual Expectations and Goods" (2014) 130 *Law Quarterly Review* 387, 387. Also see, Carter, Courtney and Tolhurst, "Issues of Principle in Assessing Contract Damages" (2014) 31 *Journal of Contract Law* 171 and Winterton, "Clark v Macourt: Defective Sperm and Performance Substitutes in the High Court of Australia" (2014) 38 *Melbourne University Law Review* 755.

LIMITATIONS RELATING TO SPECIFIC TYPES OF CLAIM

Disappointment, distress, loss of reputation

[27.175] Damages are not generally awarded to compensate non-pecuniary losses, such as disappointment, anxiety, distress or loss of reputation occurring on breach of contract. However, as the High Court confirmed in *Baltic Shipping Co v Dillon* (1993) 176 CLR 344, that this restrictive rule is subject to a number of exceptions, which are discussed in that case.

Baltic Shipping v Dillon

[27.180] *Baltic Shipping Co v Dillon* (1993) 176 CLR 344 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: On 16 February 1986, the cruise vessel, the "*Mikhail Lermontov*", struck a shoal off Cape Jackson, on the north-eastern tip of the South Island of New Zealand, was holed and sank. The cruise had commenced in Sydney on 7 February 1986 and was scheduled to end on the vessel's return to Sydney on 21 February 1986. The *appellant* was the owner and operator of the vessel. The *respondent* was a passenger. As a result of the sinking, the respondent lost possessions and suffered certain injuries. The respondent commenced proceedings against the appellant in the Admiralty Division of the Supreme Court of New South Wales. The appellant at first contested liability but, at a late stage, made certain admissions of negligence. The trial judge entered judgment for damages in favour of the respondent. Included in the award of damages were amounts of $1,417 described as "Restitution of fare" and $5,000 described as "Compensation for disappointment and distress at the loss of entertainment [and facilities for enjoyment which had been promised]". The total sum awarded was

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$51,396, of which $35,000 was paid for personal injury. An appeal to the Court of Appeal was dismissed by a majority of the court. The appellant then appealed to the High Court.]

MASON CJ: [348]

The claim for restitution of the fare: Basis on which the claim is advanced

[T]he respondent claimed: "return of the full fare in the sum of $2 205 as for a total failure of consideration." By cl 7 of the defence, the appellant simply denied that there had been a total failure of consideration. At trial, the respondent's claim was refined so as to extend only to the balance of the fare not already refunded by the appellant, that balance being $1 417.50 … [349] In this court, the appellant contends that the majority in the Court of Appeal erred in holding that the respondent was entitled to restitution of the whole of the fare. In support of this contention, the appellant submits that there was not a total failure of consideration arising from the fact that the contract of carriage was entire. The appellant also submits that a plaintiff cannot pursue both a claim for restitution of the consideration paid under a contract and a claim for damages for breach of that contract … However, if restitution is available and such damages are recoverable, questions of double compensation arise.

[27.185] *Is the fare recoverable on the ground of total failure of consideration or otherwise?*

[350] An entire contract or, perhaps more accurately, an entire obligation is one in which the consideration for the payment of money or for the rendering of some other counter-performance is entire and indivisible. In *Steele v Tardiani* (1946) 72 CLR 386 at 401 Dixon J cited the general proposition stated in Williams' *Notes to Saunders* (6th ed, 1845), vol 1: *Pordage v Cole* (1669) 1 Wms Saund 319 at 320 n (c); 85 ER 449 at 453:

> Where the consideration for the payment of money is entire and indivisible, as where the benefit expected by the defendant under the agreement is to result from the enjoyment of every part of the consideration jointly, so that the money payable is neither apportioned by the contract, nor capable of being apportioned by a jury, no action is maintainable, if any part of the consideration has failed; for, being entire, by failing partially, it fails altogether.

The concept of an entire contract is material when a court is called upon to decide whether complete performance by one party is a condition precedent to the other's liability to pay the stipulated price or to render an agreed counter-performance. If this were a case in which the appellant sought to enforce a promise to pay the cruise fare at the conclusion of the voyage the concept would have a part to play; then, if the appellant's obligations were entire, on the facts as I have stated them the appellant's incomplete performance of its obligations would not entitle it to recover.

When, however, an innocent party seeks to recover money paid in advance under a contract in expectation of the entire performance by the contract-breaker of its obligations under the contract and the contract-breaker renders an incomplete performance, in general, the innocent party cannot recover unless there has been a total failure of consideration. If the incomplete performance results in the innocent party receiving and retaining any substantial part of the benefit expected under the contract, there will not be a total failure of consideration.

In the context of the recovery of money paid on the footing that there has been a total failure of consideration, it is the performance [351] of the defendant's promise, not the promise itself, which is the relevant consideration: *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 at 48. In that context, the receipt and retention by the plaintiff of any part of the bargained-for benefit will preclude recovery, unless the contract otherwise provides or the circumstances give rise to a fresh contract. So, in *Whincup v Hughes* (1871) LR 6 CP 78, the plaintiff apprenticed his son to a watchmaker for six years for a premium which was paid. The watchmaker died after one year. No part of the premium could be recovered. That was because there was not a total failure of consideration. A qualification to this general rule, more apparent than real, has been introduced in the case of contracts where a seller is bound to vest title to chattels or goods in a buyer and the buyer seeks to recover the price paid when it turns out that title has not been passed. Even if the buyer has had the use and enjoyment of chattels or goods purportedly supplied under the contract for a limited time,

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the use and enjoyment of the chattels or goods has been held not to amount to the receipt of part of the contractual consideration. Where the buyer is entitled under the contract to good title and lawful possession but receives only unlawful possession, he or she does not receive any part of what he or she bargained for. And thus, it is held, there is a total failure of consideration. As this Court stated in *David Securities Pty Ltd v Commonwealth Bank* (1992) 66 ALJR 768 at 779: "the notion of total failure of consideration now looks to the benefit bargained for by the plaintiff rather than any benefit which might have been received in fact."

An alternative basis for the recovery of money paid in advance pursuant to a contract in expectation of the receipt of the consideration to be provided by the defendant may arise when the defendant's right to retain the payment is conditional upon performance of his or her obligations under the contract. This basis of recovery has a superficial, but not a close, resemblance to the concept of an entire contract. In this class of case the plaintiff may be entitled to recover so long as the payment remains conditional.

So, in *Dies v British & International Mining & Finance Corp* [1939] 1 KB 724, the plaintiff bought arms for the price of £135 000, paying £100 000 in advance. Though unwilling or unable to take delivery, the plaintiff succeeded in recovering the payment, [352] notwithstanding that Stable J held that there was not a total failure of consideration. There can, of course, be no such failure when the plaintiff's unwillingness or refusal to perform the contract on his or her part is the cause of the defendant's non-performance. The decision is explicable either on the ground that the seller accepted the plaintiff's repudiation and thus itself effected the discharge of the contract or on the ground that the payment was a mere part payment, the right to which depended upon performance of the contract and was thus conditional. Of the two explanations, the second is to be preferred because it is in closer accord with the judgment of Stable J. His Lordship said (at 743):

> [W]here the language used in a contract is neutral, the general rule is that the law confers on the purchaser the right to recover his money, and that to enable the seller to keep it he must be able to point to some language in the contract from which the inference to be drawn is that the parties intended and agreed that he should.

This statement in turn accords with the distinction drawn by Lord Denman CJ (to which Stable J referred) in *Palmer v Temple* (1839) 9 Ad & E 508 at 520-1; 112 ER 1304 at 1309 between a deposit which was to be forfeited if the plaintiff should not perform the contract and a mere part payment the right to which depended upon performance of the contract. The statement also accords with the point made by Dixon J in *McDonald v Dennys Lascelles Ltd*, where he said ((1933) 48 CLR 457 at 477):

> When a contract stipulates for payment of part of the purchase money in advance, the purchaser relying only on the vendor's promise to give him a conveyance, the vendor is entitled to enforce payment before the time has arrived for conveying the land; yet his title to retain the money has been considered not to be absolute but conditional upon the subsequent completion of the contract.

The question whether an advance payment, not being a deposit or earnest of performance, is absolute or conditional is one of construction. In determining that question it is material to ascertain whether the payee is required by the contract to perform work and incur expense before completing this performance of his or her obligations under the contract. If the payee is so required then, unless the contract manifests a contrary intention, it would be [353] unreasonable to hold that the payee's right to retain the payment is conditional upon performance of the contractual obligations: see *Hyundai Shipbuilding & Heavy Industries Co Ltd v Pournaras* [1978] 2 Lloyd's Rep 502; *Hyundai Heavy Industries Co Ltd v Papadopoulos* [1980] 1 WLR 1129.

I have come to the conclusion in the present case that the respondent is not entitled to recover the cruise fare on either of the grounds just discussed. The consequence of the respondent's enjoyment of the benefits provided under the contract during the first eight full days of the cruise is that the failure of consideration was partial, not total … Nor is there any acceptable foundation for holding

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that the advance payment of the cruise fare created in the appellant no more than a right to retain the payment conditional upon its complete performance of its entire obligations under the contract. As the contract called for performance by the appellant of its contractual obligations from the very commencement of the voyage and continuously thereafter, the advance payment should be regarded as the provision of consideration for each and every substantial benefit expected under the contract. It would not be reasonable to treat the appellant's right to retain the fare as conditional upon complete performance when the appellant is under a liability to provide substantial benefits to the respondent during the course of the voyage. After all, the return of the respondent to Sydney at the end of the voyage, though an important element in the performance of the appellant's obligations, was but one of many elements. In order to illustrate the magnitude of the step which the respondent asks the Court to take, it is sufficient to pose two questions … Would the respondent be entitled to a return of the fare if, owing to failure of the ship's engines, the ship was unable to proceed on the last leg of the cruise to Sydney and it became necessary to airlift the respondent to Sydney? Would the fare be recoverable if, owing to a hurricane, the ship was compelled to omit a visit to one of the scheduled ports of call? The answer in each case must be a resounding negative.

[27.190] *The combination of a claim for restitution and a claim for damages*

[354] In view of my conclusion that the respondent cannot succeed in her restitutionary claim for recoupment of the fare, there is no necessity for me to consider whether the two claims can be maintained. However, as the question has been argued, I should record my view of the question. There is authority to suggest that the claims are alternative and not cumulative: for example, *Walstab v Spottiswoode* (1846) 15 M & W 501 at 514; 3 ER 947 at 953 per Pollock CB. But Lord Denning MR was clearly of the view that the claims may be concurrent. In *Heywood v Wellers* [1976] QB 446 at 458 …

[355] Similarly, in *Millar's Machinery Co Ltd v David Way & Son* (1935) 40 Com Cas 204, the Court of Appeal dismissed an appeal from a decision of Branson J in which such a dual award was made …

And Treitel says in relation to claims for loss of bargain, reliance loss and restitution (*The Law of Contract* (8th ed, 1991), p 834):

> There is sometimes said to be an inconsistency between combining the various types of claim …
>
> The true principle is not that there is any logical objection to combining the various types of claim, but that the plaintiff cannot combine them so as to recover more than once for the same loss … The point has been well put by Corbin: "*full* damages and *complete* restitution … will not both be given for the same breach of contract.": *Corbin on Contracts, §1221*; emphasis added by Treitel.

[However, elsewhere he appears to treat the claims as alternatives: pp 923-33.] The action to recover money paid on a total failure of consideration is on a common money count for money had and received to the use of the plaintiff. (*Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 at 61-3. To the extent that it is necessary to say so, this decision correctly reflects the law in Australia and, to the extent that it is inconsistent, should be preferred to the decision of this court in *Re Continental C & G Rubber Co Pty Ltd* (1919) 27 CLR 194.) The action evolved from the writ of indebitatus assumpsit. It is available only if the contract [356] has been discharged, either for breach or following frustration, and if there has been a total, and not merely partial, failure of consideration … Unconditionally accrued rights, including accrued rights to sue for damages for prior breach of the contract, are not affected by the discharge. Prepayments can, in general, be recovered, but the position of deposits or earnests is not entirely clear, the better view being that they are not recoverable if paid to provide a sanction against withdrawal: *Mayson v Clouet* [1924] AC 980.

In 1846, when Pollock CB held in *Walstab v Spottiswoode* that it was not possible to combine a claim for damages with one for restitution, the restitutionary action was brought on the writ of indebitatus assumpsit. Subsequently, Lord Wright said in *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* at 63:

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> The writ of indebitatus assumpsit involved at least two averments, the debt or obligation and the assumpsit. The former was the basis of the claim and was the real cause of action. The latter was merely fictitious and could not be traversed, but was necessary to enable the convenient and liberal form of action to be used in such cases.

The action was, as Lord Mansfield said in *Moses v Macferlan* (1760) 2 Burr 1005 at 1008; 97 ER 676 at 678 "quasi ex contractu" and founded on an obligation imposed by law and accommodated within the system of formal pleading by means of the fictitious assumpsit or promise. It was necessary to plead the fictitious assumpsit until the enactment of s 3 of the *Common Law Procedure Act 1852* (Eng). And even then its influence continued. The abolition of the forms of action inspired an analysis of the sources of obligation in the common law in terms of a rigid [357] dichotomy between contract and tort. In that context, there was little room for restitutionary obligation imposed by law except as a "quasi-contractual" appendix to the law of contract. As a result, until recently, restitutionary claims were disallowed when a promise could not be implied in fact. However, since *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221 such an approach no longer represents the law in Australia. But, in the circumstances prevailing in 1846, it is not difficult to see that a plaintiff would necessarily be put to an election between the real and fictitious promises. In cases of tort it is equally plain that there had to be a choice between an action on a fictitious assumpsit (waiving the tort) and seeking damages for the tort …

Conclusion: the respondent cannot recover the fare and damages for breach of contract

[27.195] [359] The old forms of action cannot provide the answer today. But in my view, *Walstab v Spottiswoode* and the earlier cases support the view expressed by Corbin and Treitel that full damages and complete restitution will not be given for the same breach of contract. There are several reasons. First, restitution of the contractual consideration removes, at least notionally, the basis on which the plaintiff is entitled to call on the defendant to perform his or her contractual obligations. More particularly, the continued retention by the defendant is regarded, on the language of Lord Mansfield, as "against conscience" or, in the modern terminology, as an unjust enrichment of the defendant because the condition upon which it was paid, namely, performance by the defendant may not have occurred: see *Fibrosa* [1943] AC 32 at 65-7 per Lord Wright. But, equally, that performance, for deficiencies in which damages are sought, was conditional on payment by the plaintiff. Recovery of the money paid destroys performance of that condition. Secondly, the plaintiff will almost always be protected by an award of damages for breach of contract, which in appropriate cases will include an amount for substitute performance or an amount representing the plaintiff's reliance loss. It should be noted that nothing said here is inconsistent with *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377.

I would therefore conclude that, even if the respondent had an entitlement to recover the cruise fare, Carruthers J and the majority of the Court of Appeal erred in allowing restitution of the balance of the fare along with damages for breach of contract. The consequences of this conclusion will be considered below in light of the conclusion to be reached with regard to the award of damages for disappointment and distress …

The claim for damages for disappointment and distress

[27.200] [On the question of awarding damages for disappointment and distress, Mason CJ considered the authorities and the various possibilities and continued:] [359]

[I]t is evident that, while the innocent party to a contract will generally be disappointed if the defendant does not perform the contract, the innocent party's disappointment and distress are seldom so significant as to attract an award of damages on that score. For that reason, if for no other, it is preferable to adopt the rule that damages for disappointment and distress are not recoverable unless they proceed from physical inconvenience caused by the breach or unless the contract is one the object of which is to provide enjoyment, relaxation or freedom from molestation. In cases falling within the last-mentioned category, the damages flow directly from the breach of contract,

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the promise being to provide enjoyment, relaxation or freedom from molestation. In these situations the court is not driven to invoke notions such as "reasonably foreseeable" or "within the reasonable contemplation of the parties" because the breach results in a failure to provide the promised benefits. [T]his approach … is to be preferred to the artificial expedient of saying that damages of the kind under consideration will be awarded for breaches of non-commercial contracts but not for breaches of commercial contracts …

[His Honour said that $5 000 would provide fair compensation.]

MCHUGH J [held that there was no total failure of consideration, that once the passenger began to enjoy the promised benefits the right of the shipowner to retain the fare became unconditional. He agreed that the plaintiff was not entitled to recover the price of her fare on the basis of restitution. His Honour continued]:

The general rule relating to damages for distress and disappointment

Damages for breach of contract cannot ordinarily be awarded for distress or disappointment arising from that breach. In *Hamlin v Great Northern Railway Co* (1856) 1 H & N 408 at 411; 156 ER 1261 at 1262, Pollock CB said:

> In actions for breaches of contract the damages must be such as are capable of being appreciated or estimated … but it may be laid down as a rule, that generally in actions upon contracts no damages can be given which cannot be stated specifically, and that the plaintiff is entitled to recover whatever damages naturally result from the breach of contract, but not damages for the disappointment of mind occasioned by the breach of contract.

(This passage was cited with approval by Dixon and McTiernan JJ in *Fink v Fink* (1946) 74 CLR 127 at 142–3.)

In *Hamlin*, the defendant, in breach of contract, failed to carry the plaintiff to his destination in accordance with the advertised time-table, forcing the plaintiff to obtain overnight accommodation in the course of his journey and to buy a new ticket to resume his journey. The plaintiff sued for breach of contract alleging that, [395] in consequence of the delay, he failed to keep appointments with customers and was detained for longer than he should have been. The Court of Exchequer held that he was entitled only to nominal damages "and such other damages of a pecuniary kind as he may have really sustained as a direct consequence of the breach of contract": at 411; 1262.

The rule that damages cannot be recovered for distress arising out of a breach of an ordinary contract was substantially confirmed in *Addis v Gramophone Co Ltd* [1909] AC 488 where the House of Lords set aside an award of damages for "the abrupt and oppressive way in which the plaintiff's services were discontinued, and the loss he sustained from the discredit thus thrown upon him". Lord Loreburn LC said (at 491) "that indemnity cannot include compensation either for the injured feelings of the servant, or for the loss he may sustain from the fact that his having been dismissed of itself makes it more difficult for him to obtain fresh employment." After the decision in *Addis*, the general rule was so firmly established in England and Australia that in *Fink v Fink* (at 144) Dixon and McTiernan JJ could say that, in an action for breach of contract, "[r]esentment, disappointment and the loss of esteem of friends are not proper elements".

Various explanations of the rationale of this rule have been proffered. None of them is satisfactory. The rationale implicit in *Hamlin* was that damages for disappointment (or distress) are not awarded because they cannot be assessed accurately. Yet in many actions of tort (for example, defamation, malicious prosecution and false imprisonment), damages for distress can be awarded …

[396] While it can be accepted that not all principles relating to an award of damages in tort ought to be applicable in an action for breach of contract, it is difficult to see why no damages should be awarded for distress or disappointment arising directly from the breach of contract itself. Difficulty of assessment does not stop courts awarding those damages in actions in tort. If the plaintiff is denied recovery for distress or disappointment in a contract case, the award of damages will fail to fulfil the

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objective of compensating the plaintiff for the harm which he or she has suffered as the result of the defendant's breach. Another explanation for the general rule is that disappointment and distress arising from breach of contract are not within the contemplation of the parties to ordinary, particularly commercial, contracts. But such an explanation does not accord with everyday experience relating to the making of contracts. The parties to many contracts, including many commercial contracts, are fully aware, when they make them, that breach will result in disappointment and sometimes distress to the innocent party.

Treitel contends that the ordinary rule is sensible because "anxiety is an almost inevitable concomitant of expectations based on promises, so that a contracting party must be deemed to take the risk to it": Treitel, *The Law of Contract* (8th ed, 1991), p 878. However, the proposition that "anxiety is an almost inevitable concomitant of expectations based on promises", while generally true, does not explain why the injured party should have to bear the risk of this particular head of damage while being entitled to be compensated for other damage flowing from breach of contract. Furthermore, the proposition that the "party must be deemed to take the risk of it" merely records the result of the rule and is not an explanation of it …

Allowing damages for distress and disappointment would increase the cost of entering into contracts. But it is at least arguable that the cost of meeting such claims does not outweigh the demands of [397] distributive justice in ensuring that individuals are properly compensated for the harm which they suffer by reason of breaches of contracts. It is difficult to resist the conclusion that the unexpressed basis for the general rule was the instinctive fear of the common law judges that to allow damages for disappointment or distress consequent upon breach of an ordinary contract would be to inflate damage awards in contract cases, particularly in commercial cases where the breach has been accompanied by high handed behaviour. (But see *Hayes v Dodd* [1990] 2 All ER 815 at 823 where Staughton LJ said that he would not view with enthusiasm the prospect that every shipowner, having successfully claimed unpaid freight or demurrage, would be able to add a claim for mental distress suffered while waiting for his money.) At the same time, it must be acknowledged that the common law judges have admitted significant exceptions to the general rule. Moreover, they have often sought to justify these exceptions by propositions which undermine the general rule itself.

[27.205] *The exceptions*

From an early period, the common law allowed damages for injured feelings and wounded pride consequent upon a breach of a promise of marriage. Moreover, soon after the decision in *Hamlin*, the Court of Exchequer held that damages for "inconveniences and annoyances" could be awarded for breach of contract. In *Burton v Pinkerton* (1867) LR 2 Ex 340, the plaintiff had agreed to serve as a seaman on a ship "upon an ordinary commercial voyage". However, in breach of contract, the defendant placed the ship under the control of a foreign government which was at war, causing the plaintiff to leave the ship at a foreign port. The court held that the plaintiff was entitled to damages for the inconveniences and annoyances arising from the defendant's breach of contract.

Nine years after *Burton*, the Queen's Bench held that a plaintiff was entitled to damages for the inconvenience of having to walk home in the early hours of the morning when a train failed to stop at the station for which he had bought a ticket: *Hobbs v London & South Western Railway Co* (1875) LR 10 QB 111. Cockburn CJ said (at 116) that:

> if the jury are satisfied that in the particular instance personal inconvenience or suffering has been occasioned, and that it has [398] been occasioned as the immediate effect of the breach of the contract, I can see no reasonable principle why that should not be compensated for.

His Lordship said that *Hamlin* did not decide that personal inconvenience, however serious, was not to be taken into account as a subject matter of damages. Blackburn J asserted that in *Hamlin* there was no inconvenience at all, saying that "sleeping at Grimsby instead of Hull seems really to be nothing". Mellor J said (at 122):

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> that for the mere inconvenience, such as annoyance and loss of temper, or vexation, or for being disappointed in a particular thing which you have set your mind upon, without real physical inconvenience resulting, you cannot recover damages. That is purely sentimental, and not a case where the word inconvenience, as I here use it, would apply.

But his Lordship went on to say (at 123) that: "where the inconvenience is real and substantial arising from being obliged to walk home, I cannot see why that should not be capable of being assessed as damages in respect of inconvenience."

Some years earlier in *Kemp v Sober* (1851) 1 Sim 9 (NS) 517; 61 ER 200, Lord Cranworth VC had held that "the feeling of anxiety" was the suffering of damage for the purpose of obtaining an injunction to restrain a breach of covenant not to carry on a business or calling. Notwithstanding the exceptions admitted in these cases, the general rule laid down in *Addis* was almost automatically applied until the post-war period. *Burton* and *Hobbs* seem to have been largely ignored …

In *Bailey v Bullock* [1950] 2 All ER 1167, however, Barry J distinguished *Addis* and applied *Burton* and *Hobbs* to award damages for "inconvenience and discomfort" where a solicitor in breach of his retainer had failed to obtain possession of the plaintiff's house and, as a result, the plaintiff was compelled to live with his parents-in-law in circum-[399]stances of physical inconvenience. Barry J said (at 1171) that the "inconvenience should have been reasonably contemplated by the defendants as a probable result of their failure to perform their contractual duties".

The decision in *Bailey* was followed in *Stedman v Swan's Tours* (1951) 95 Sol J 727 where the English Court of Appeal awarded damages for "appreciable inconvenience and discomfort" arising from a breach of contract by the defendants in failing to arrange first class hotel accommodation at a resort. *Stedman* was relied upon by Zelling J in *Athens-Macdonald Travel Service Pty Ltd v Kazis* [1970] SASR 264 where the plaintiff was awarded damages for the substantial inconvenience and discomfort which arose during a holiday in Cyprus as the result of the defendant's failure to make the necessary travel arrangements. In *Jarvis v Swans Tours Ltd* [1973] QB 233, the Court of Appeal made further inroads to the rule in *Addis* by making an award of damages for "loss of enjoyment" where the plaintiff's skiing holiday did not measure up to the promises in the defendant's brochure. Lord Denning MR thought that *Hamlin* and *Hobbs* no longer stated the law accurately. His Lordship said (at 237-8):

> In a proper case damages for mental distress can be recovered in contract, just as damages for shock can be recovered in tort. One such case is a contract for a holiday, or any other contract to provide entertainment and enjoyment. If the contracting party breaks his contract, damages can be given for the disappointment, the distress, the upset and frustration caused by the breach….

[400] Damages for disappointment have been awarded in other "holiday" cases. The decision in *Jarvis* was soon extended beyond the area of holiday contracts. At first, the rationale of an award of damages for distress in contract cases was explained as being the contemplation of the parties that the breach might give rise to distress. In *Cox v Philips Industries Ltd* [1976] 1 WLR 638, at 644 Lawson J held that damages could be awarded for vexation, frustration and distress if "it was in the contemplation of the parties" that such damage would result from breach. His Lordship awarded damages for the "depression, vexation and frustration" which arose from the defendant's breach of contract in relegating the plaintiff, its employee, to a position of lesser responsibility. In *Heywood v Wellers* [1976] QB 446, the Court of Appeal, like Lawson J in *Cox*, appeared to regard "the contemplation" of the parties as the basis for awarding damages for distress. The court awarded the plaintiff damages for the mental distress arising from the failure of her solicitors, in breach of their retainer, to obtain an order restraining a man from molesting her. Although *Jarvis* and *Jackson v Horizon Holidays* were cited in argument, Lord Denning MR said that what the plaintiff had suffered was within the contemplation of the defendants "within the rule in *Hadley v Baxendale*". James LJ cited *Jarvis* for the proposition that the damages were payable because it was "within the contemplation of the contracting parties that a foreseeable result of a breach of the contract will be to cause vexation, frustration, or distress".

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Bridge LJ said that the damages were recoverable because the plaintiff had suffered mental distress which was "the direct and inevitable consequence of the solicitor's negligent failure to obtain the very relief which it was the sole purpose of the litigation to secure". His Lordship said that a clear distinction could be drawn between mental distress which arose in that situation and mental distress which arose as an incidental consequence of the misconduct of litigation by a solicitor and which was not recoverable.

However, recent English cases have decisively rejected the view that the contemplation of the parties is the basis upon which damages for distress or disappointment are awarded for breach of [401] contract. Instead, they have concluded that such damages are recoverable only when the object of the contract is to provide enjoyment, pleasure or freedom from distress or where the distress is consequent upon the suffering of physical inconvenience. In *Bliss v South East Thames Regional Health Authority* [1987] 1 ICR 700 the Court of Appeal expressly rejected the statement of Lawson J in *Cox* that damages could be recovered for breach of a contract of employment if distress arising from the breach was within the contemplation of the parties …

The approach … in *Bliss* was approved by the Court of Appeal in *Hayes v Dodd* [1990] 2 All ER 815 Staughton LJ said (at 824):

> I am not convinced that it is enough to ask whether mental distress was reasonably foreseeable as a consequence, or even whether it should reasonably have been contemplated as not unlikely to result from a breach of contract. It seems to me that damages for mental distress in contract are, as a matter of policy, limited to certain classes of case. I would broadly follow the classification provided by Dillon LJ in *Bliss v South East Thames Regional Health Authority*: "… where the contract which has been broken was itself a contract to provide peace of mind or freedom from distress …"

It may be that the class is somewhat wider than that. But it should not, in my judgment, include any case where the object of the contract was not comfort or pleasure, or the relief or [sic] discomfort, but simply carrying on a commercial activity with a view to profit.

[402] In *Hayes*, the Court of Appeal set aside damages for anguish and vexation arising from the negligence of solicitors who had been retained on a purchase of a commercial property.

In *Watts v Morrow* [1991] 1 WLR 1421 at 1442, the Court of Appeal held that "in the case of the ordinary surveyor's contract, damages are only recoverable for distress caused by physical consequences of the breach of contract" …

No uniformity of approach to the question of damages for distress for breach of contract is discernible in the decisions of other courts in the British Commonwealth. Decisions in Australia, Canada and New Zealand are spread along a spectrum from acceptance of *Addis* to rejection of that decision.

Apart from the decision of Zelling J in *Athens-Macdonald Travel Service Pty Ltd* and the decision of the Court of Appeal in the present case, Australian courts have paid little attention to the developments in England in the last 40 years concerning the award of damages for distress arising from breach of contract. In *Allison v Hewitt* (1974) 3 NSWDCR 193 and *Falko v James McEwan & Co* [1977] VR 447, *Jarvis* was distinguished on the basis that it applied to holiday situations and not to ordinary commercial contracts … [403] In Canada, the Supreme Court has taken a view contrary to that taken by the English Court of Appeal in *Bliss*, *Hayes* and *Watts* …

In New Zealand, the demise of the *Addis* rule seems imminent, if it has not already occurred …

[27.210] *The applicable rule*

[404] If the matter were free from authority, the object of an award of damages for breach of contract and the principles of causation and remoteness would require the conclusion that damage for disappointment or distress, resulting from breach of contract, was compensable if it was within the reasonable contemplation of the parties when the contract was made. No doubt in most cases,

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the disappointment would be so negligible that the damage suffered could be regarded as de minimis and ignored. But in other cases, it seems unreasonable that the party in breach should escape liability even though, at the time of making the contract, that person knew that breach might result in the other party suffering disappointment …

However, the rule in *Addis* has stood for the best part of a century. In this country it has suffered little, if any, inroad by judicial decision. Furthermore, in *Fink*, two of the three members of the majority accepted the common law rule to be that stated by Pollock CB in *Hamlin*.

It is still open to this court to declare that damages for distress [405] and disappointment in contract cases are not subject to any special rules. However, I do not think that the step should be taken in this case. Counsel for Mrs Dillon did not argue that the general rule laid down in *Hamlin* and confirmed in *Addis* should be rejected. He was content to rely on the modern English decisions. Consequently, the court did not have the benefit of argument concerning the social and economic consequences of a decision which overturned the rule formulated in *Hamlin*. On the other hand, having regard to the decisions in *Burton* and *Hobbs*, the developments in England, Canada and New Zealand in the last 40 years and the requirements of basic principle, this court should not accept everything that was said by Pollock CB in *Hamlin* or by the House of Lords in *Addis* …

In the result, the court should not presently reject the general rule enunciated in *Hamlin* and substantially confirmed in *Addis*. At the same time, it should recognise that damages for distress or disappointment are recoverable in an action for breach of contract if it arises from breach of an express or implied term that the promisor will provide the promisee with pleasure or enjoyment or personal protection or if it is consequent upon the suffering or physical injury or physical inconvenience. The question whether the general rule enunciated in *Hamlin* should be overruled can be considered when the court has heard full argument on the question.

[27.215] *Mrs Dillon's right to damages for distress and disappointment*

[406] The contract between Mrs Dillon and Baltic was one in which Baltic impliedly promised to provide a pleasurable and enjoyable cruise for 14 days. Its failure to do so means that it must pay damages for the distress and disappointment suffered by Mrs Dillon … If Mrs Dillon retained both the sum of $1 417 and the sum of $5 000, her compensation would be unreasonably excessive. If the appeal is allowed on the restitution issue and dismissed on the distress issue, however, the sum of $5 000 will be fair compensation for the general damage which she suffered over and above the loss of her valuables and personal injuries …

[Brennan J drew a distinction between a case where a contract is expressed to protect a promisee from disappointment of mind and a case where disappointment of mind is merely a mental reaction to breach citing *Heywood v Wellers*. His Honour said (at 370):

> That was a case of a solicitor's negligence in prosecuting proceedings in accordance with his retainer. Bridge LJ said:
>
> > There is, I think, a clear distinction to be drawn between mental distress which is an incidental consequence to the client of the misconduct of litigation by his solicitor, on the one hand, and mental distress on the other hand which is the direct and inevitable consequence of the solicitor's negligent failure to obtain the very relief which it was the sole purpose of the litigation to secure. The first does not sound in damages: the second does.

His Honour said that the plaintiff was promised "a holiday cruise, an interlude to refresh the mind and relax the spirits" but that instead she was shipwrecked, an "event provoking severe tension of mind and depression of spirit". Brennan J continued (at 371):

> The damage inevitably and directly consequent on the breach of promise to carry her safely (or to use all reasonable care to carry her safely) to her destination was not simply

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> a non-performance of the contract of carriage but an exposure to danger and infliction of mental distress … [372] It was such an inevitable and direct result of that breach that it is proper to hold that it flowed naturally from the breach. An award of damages for "disappointment and distress" was therefore right in principle.

His Honour agreed that an award of $5 000 damages was appropriate.]

[DEANE and DAWSON JJ in a joint judgment agreed that there had been no total failure of consideration and that the fare was irrecoverable. Their Honours said that they agreed with the general rule that a plaintiff is not entitled to recover damages for disappointment of mind, distress and injured feelings occasioned by a breach of contract, but that the present case fell within a category to which the general rule does not apply, and that where the very object of the contract is to provide pleasure, relaxation, peace of mind or freedom from molestation, damages will be awarded if the fruit of the contract is not provided. TOOHEY J in a short judgment agreed with Mason CJ.]

[GAUDRON J agreed that the fare could not be recovered back as there had not been total failure of consideration and further, that as Baltic had provided some consideration, Baltic's right to retain the fare money became unconditional. Her Honour agreed with Mason CJ on the right to recover damages for disappointment and distress.]

[The High Court ordered that the order made by Carruthers J for restitution of the fare and so much of the award for interest as related to the order for restitution be set aside.]

Appeal allowed.

Contributory negligence

[27.220] Legislation throughout Australia has abolished the common law doctrine of contributory negligence, which provided a complete defence to an action for the tort of negligence. Instead, the legislation permits a court to apportion responsibility between the parties to reduce the damages awarded to a plaintiff whose negligence has contributed to his or her own damage to the extent that is "just and equitable": see *Civil Law (Wrongs Act) 2002* (ACT), s 102; *Law Reform (Miscellaneous Provisions) Act 1965* (NSW), s 9(1); *Law Reform (Miscellaneous Provisions) Act* (NT), s 16(1); *Law Reform Act 1995* (Qld), s 10(1); *Law Reform (Contributory Negligence and Apportionment of Liability) Act 2001* (SA), s 7; *Wrongs Act 1954* (Tas), s 4; *Wrongs Act 1958* (Vic), s 26(1); *Law Reform (Contributory Negligence and Tortfeasors' Contribution) Act 1947* (WA), s 4(1).

Under the common law, the doctrine of contributory negligence never applied to the law of contract. In *Astley v Austrust* [1999] HCA 6; (1999) 197 CLR 1, the High Court held that apportionment legislation will not apply to reduce an award of damages for breach of contract on grounds of contributory negligence. This position has been altered by legislation in all States and Territories: see *Civil Law (Wrongs Act) 2002* (ACT), s 101; *Law Reform (Miscellaneous Provisions) Act 1965* (NSW), s 8; *Law Reform (Miscellaneous Provisions) Act* (NT), s 15; *Law Reform Act 1995* (Qld), s 5; *Law Reform (Contributory Negligence and Apportionment of Liability) Act 2001* (SA), s 3; *Wrongs Act 1954* (Tas), s 2; *Wrongs Act 1958* (Vic), s 25; *Law Reform (Contributory Negligence and Tortfeasors' Contribution) Act 1947* (WA), s 3A.

Loss of bargain damages and termination under a term

Shevill v Builders Licensing Board

[27.225] *Shevill v Builders Licensing Board* (1982) 149 CLR 620 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: Shevills, the *appellants*, were the guarantors of due performance by the lessee of the terms of a lease by the *respondent*, of certain land for a term of three years from 7 March 1976. The lease reserved a yearly rent of $36,655, which the lessee covenanted to pay in advance in equal monthly instalments.

Clause 9(a) of the lease provided that if the rent should remain unpaid for a period of 14 days or if there was any breach or default in any of the provisions of the lease or if winding-up or bankruptcy proceedings should be taken against the lessee, the lessor had the right to re-enter the premises:

> but without prejudice to any other remedy which the lessor has or might or otherwise would have for arrears of rent or breach of covenants or for damages as a result of any such event and thereupon the lessor should be freed and discharged from any action suit claim or demand by or obligation to the lessee under or by virtue of this lease.

The lessee was constantly in arrears with the rent. The largest debit balance was $6,971.25 in June 1977, but payments subsequently reduced the balance. In June and July 1977, three cheques given in the payment of rent were dishonoured.]

GIBBS CJ [stated the facts and continued]: [624] It is unnecessary to go further into the details of the evidence. It is enough to say that the only possible inference is that the lessee was experiencing financial difficulty … It is however impossible to conclude that the lessee was unwilling to comply with its obligations. Finally, on 3 August 1977, two months' rent (amounting to $5 442.50) remained unpaid. On that date the respondent issued and served a statement of claim claiming possession of the land. It was conceded that the effect was to forfeit the lease, although the lessee did not in fact give up possession until ordered to do so in October 1977. The respondent, in the present proceedings, claimed $5 442.50, the rent due to 3 August 1977, and damages for breach of the covenants of the lease and interest. At some time after the proceedings were commenced the arrears of rent were paid. The learned trial judge gave judgment for the respondent for damages of $41 261 plus interest. Damages were assessed by having regard to the amount which the respondent would have [625] received by way of rent during the remainder of the term and after giving credit for the amounts of rent which it was able to receive from the property during that period. The amount of the assessment is not contested.

It is not now disputed that the appellants are liable under the guarantee for whatever damages are payable by the lessee to the respondent. The question for decision is whether the lessee is in the circumstances liable for damages.

The primary submission made on behalf of the respondent was that since the breaches of contract committed by the lessee entitled the respondent to terminate the contract, it followed that when the respondent exercised its right to do so it became entitled to damages for loss of the benefits which performance of the contract would have conferred upon it. This submission treated the breaches of the covenant to pay rent as a breach of an essential term of the contract. In the alternative it was submitted that the conduct of the lessee revealed such an unwillingness or inability to perform the contract as to amount to a repudiation of it …

[A] contract may be repudiated if one party renounces his liabilities under it — if he evinces an intention no longer to be bound by the contract … or shows that he intends to fulfil the contract only in a manner substantially inconsistent with his [626] obligations and not in any other way … The present case was not one of this kind … A third situation in which a right to rescission arises is where there has been a breach of a fundamental or essential term of the contract …

[627] The test accepted in *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322 at 337, is whether the term "is of such importance to the promisee that he would not have entered into the contract

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unless he had been assured of a strict or a substantial performance of the promise, as the case may be, and that this ought to have been apparent to the promisor" … It is clear that a covenant to pay rent in advance at specified times would not, without more, be a fundamental or essential term having the effect that any failure, however slight, to make payment at the specified times would entitle the lessor to terminate the lease. However, the parties to a contract may stipulate that a term will be treated as having a fundamental character although in itself it may seem of little importance, and effect must be given to any such agreement (see *Wickman Tools v Schuler AG* [1974] AC 235 at 251) … In the present case cl 9(a) undoubtedly gave to the respondent a right to re-enter if rent should be unpaid for 14 days … However, the respondent's argument is that because cl 9(a) gave a right to re-enter for any breach of cl 3 that resulted in rent being unpaid for 14 days, the covenant in cl 3 as to payment, together with the provisions of cl 9(a), became an essential term, or at least gave the respondent the same rights as are available under the general law to a party who elects to terminate a contract for repudiation or fundamental breach.

In my opinion it does not follow from the fact that the contract gave the respondent the right to terminate the contract that it conferred on it the further right to recover damages as compensation for the loss it will sustain as a result of the failure of the lessee to pay the rent and observe the covenants for the rest of the term. Clause 9(a) specifies a number of circumstances in which the rights [628] conferred by that clause will arise. The first of those circumstances — (where the rent is unpaid for 14 days) — is not described by reference to any breach, although it necessarily involves a default. The second case — that in which the lessee commits or suffers to occur any breach or default in the observance of any of the covenants of the lease — does depend entirely upon the lessee causing or suffering a breach to occur. The other conditions on which re-entry is available do not necessarily involve a breach of any covenant or condition of the lease. In some cases, whether or not there has been a breach, the right of re-entry given by cl 9(a) may become available although the circumstances would not suggest that the position of the lessor under the lease has been substantially affected or threatened. For example, a lessee, who usually makes prompt payment of the rent, may allow a small amount of rent to fall in arrears for 14 days. He may commit a minor breach of covenant, such as an insignificant failure to paint or repair or keep the premises clean. He may make an arrangement with his creditors the effect of which will nevertheless be that he can continue to pay the rent fully and on time. In all these circumstances the lessor is given the right to re-enter. However it would require very clear words to bring about the result, which in some circumstances would be quite unjust, that whenever a lessor could exercise the right given by the clause to re-enter, he could also recover damages for the loss resulting from the failure of the lessee to carry out all the covenants of the lease; covenants which, in some cases, the lessee might have been both willing and able to perform had it not been for the re-entry.

The words of cl 9(a) afford no support to the respondent's argument. The rights which the lessor is to have if any of the circumstances mentioned in the clause exist are exhaustively defined by the clause. There are preserved to the lessor: "any action or other remedy which the lessor has or might or otherwise could have for arrears of rent or breach of covenants or for damages as a result of any such event" …

[His Honour then discussed the meaning of cl 9(a).] [629] The clause does not confer a right to recover damages which result from the fact that the lessee will pay no further rent during the remainder of the term. It does not refer to damages for the loss of the benefits conferred by the lease as a whole. Although cl 9(a) deals with the situation in which the lessor may bring the lease to an end, there is nothing in its provisions to indicate any intention to give to a lessor who exercises the right to re-enter the same rights as would have been available to him if he had accepted a repudiation of the contract or had rescinded it on the ground that the lessee had committed a breach of an essential term. It would have been easy, although inequitable, to provide that in any of the circumstances mentioned in cl 9(a) the lessor would be entitled to damages for loss of the benefits which performance of the covenants of the lease would have conferred on him in the future. However, the rights of the lessor are limited to the recovery of arrears of rent and damages for breaches and other events that occurred

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before re-entry. Assuming that non-payment of the rent was an "event", damage caused by the fact that the lessor chose to re-enter, and thereby absolved the lessee from the obligation to pay rent during the remainder of the term, did not result from that event within the meaning of the clause on its proper construction. The main argument which was submitted on behalf of the respondent must therefore fail.

In my opinion the alternative argument submitted on behalf of the respondent is also unsuccessful. It may be that cl 9(a) excludes the rights that would ordinarily flow from an accepted repudiation of the contract. Whether or not that is so, the evidence does not reveal that the lessee committed breaches which went to the root of the contract. Counsel for the respondent relied particularly on the submission that the circumstances made it probable that the lessee would have continued to be late with its payments of the rent. We were referred to *Maple Flock Co v Universal Furniture Products* [630] *(Wembley) Ltd* [1934] 1 KB 148 … The evidence in the present case made it possible to infer that the lessee would have continued to find it difficult to make prompt payments of rent, but it did not show how long the difficulties of the lessee were likely to last or whether its financial position was likely to improve or to deteriorate. They did not show that the rent would not be paid — in fact, in the past, the rent had rarely been more than two months in arrears … It is in my opinion not possible to conclude that there was a fundamental breach of the contract which would have entitled the respondent to rescind it under the general law, and to recover damages for total breach.

For these reasons in my opinion the respondent was entitled to recover the arrears of rent but was not entitled to the damages which the learned trial judge awarded … [MURPHY and BRENNAN JJ agreed essentially with the judgment of Gibbs CJ. WILSON J in a separate judgment agreed that the lessor was not entitled to damages for loss of the contract.]

Appeal allowed.

[27.230] **Note**

The parties may avoid the restriction on loss of bargain damages in *Shevill v Builders Licensing Board* (1982) 149 CLR 620 through careful drafting. In *Gumland Property Holdings Pty Limited v Duffy Bros Fruit Market (Campbelltown) Pty Ltd* [2008] HCA 10; (2008) 234 CLR 237, the High Court confirmed that such provisions may be effective and that effect should be given to the clearly expressed intentions of the parties in such cases.

CHAPTER **28**

Liquidated damages and penalties

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THE PENALTIES DOCTRINE

[28.05] The penalties doctrine applies to contractual stipulations that impose additional liability for the non-observance of a primary stipulation imposed *in terrorem* of the satisfaction of that primary stipulation. In Australia, the doctrine applies both to stipulations providing for the payment of money in the event of breach of contract and to stipulations imposing additional liability on the occurrence or non-occurrence of events that are not obligations under the contract.

There are three stages to the penalty analysis:

- first, whether the penalties doctrine is engaged;
- second, whether the impugned stipulation is penal; and
- third, the consequences of a determination that a stipulation is penal.

See *Australia Capital Financial Management Pty Ltd v Linfield Developments Pty Ltd* [2017] NSWCA 99, [357].

IS THE PENALTIES DOCTRINE ENGAGED?

[28.10] Until the decision of the High Court in *Andrews v Australia and New Zealand Banking Group Ltd* [2012] HCA 30; (2012) 247 CLR 205, the modern doctrine of penalties was understood only to apply to contractual terms that specified amount payable to one party on the event of breach by the other. In this case, the High Court affirmed the continued application of the equitable penalties doctrine, which has a wider jurisdiction.

Andrews v Australia and New Zealand Banking Group Ltd

[28.40] *Andrews v Australia and New Zealand Banking Group Ltd* [2012] HCA 30; (2012) 247 CLR 205 (High Court of Australia) – removal of appeal to the Full Court of the Federal Court of Australia pursuant to s 40(1) of the *Judiciary Act 1903* (Cth).

[FACTS: Over 30,000 customers commenced representative proceedings against their bank seeking declarations that honour, dishonour and non-payment fees in respect of various retail and business deposit accounts and late-payment and over-limit fees in respect of consumer and commercial credit card accounts were void or unenforceable as penalties. A question arose of whether the fees were payable only upon breach of contract by the customers and, if so, whether the fees were capable of being characterised as penalties. The primary judge held that only the late-payment fees were payable

Andrews v Australia and New Zealand Banking Group Ltd cont.

upon breach of contract. Following the decision of the Court of Appeal of the Supreme Court of New South Wales in *Interstar Wholesale Finance Pty Ltd v Integral Home Loans Pty Ltd* (2008) 257 ALR 292, the primary judge held that the penalty doctrine was limited to breaches of contract and thus could be applied only to the late-payment fees. The applicants applied for leave to appeal to the Full Court of the Federal Court of Australia. On the application of the applicants for leave, French CJ and Crennan J removed that application to the High Court.]

FRENCH CJ, GUMMOW, CRENNEN, KEIFEL AND BELL JJ:

The penalty doctrine

[9] Mason and Deane JJ observed in *Legione v Hateley* (1983) 152 CLR 406 at 445; [1983] HCA 11 that, as the term suggests, a penalty is in the nature of a punishment for non-observance of a contractual stipulation and consists, upon breach, of the imposition of an additional or different liability.

[10] In general terms, a stipulation prima facie imposes a penalty on a party ("the first party") if, as a matter of substance, it is collateral (or accessory) to a primary stipulation in favour of a second party and this collateral stipulation, upon the failure of the primary stipulation, imposes upon the first party an additional detriment, the penalty, to the benefit of the second party (*Waterside Workers' Federation of Australia v Stewart* (1919) 27 CLR 119; [1919] HCA 63 at 128-129 and 131; *Acron Pacific Ltd v Offshore Oil NL* (1985) 157 CLR 514; [1985] HCA 63 at 520). In that sense, the collateral or accessory stipulation is described as being in the nature of a security for and in terrorem of the satisfaction of the primary stipulation (*Rolfe v Peterson* (1772) 2 Bro PC 436 at 442; 1 ER 1048 at 1052; *Dunlop Pneumatic Tyre Co Ltd v New Garage and Motor Co Ltd* [1915] AC 79 at 86; cf, as to irrevocable letters of credit and "performance bonds", the proceeds of which are in substitution for performance by a contractor, *Fletcher Construction Australia Ltd v Varnsdorf Pty Ltd* [1998] 3 VR 812; Mason, "'I'll have my bond; speak not against my bond': Constructive trusts and surplus proceeds from performance bonds" (2012) 6 *Journal of Equity* 74 at 81-83). If compensation can be made to the second party for the prejudice suffered by failure of the primary stipulation, the collateral stipulation and the penalty are enforced only to the extent of that compensation. The first party is relieved to that degree from liability to satisfy the collateral stipulation.

[11] It has been established at least since the decision of Lord Macclesfield in *Peachy v Duke of Somerset* (1720) 1 Strange 447; 93 ER 626 that the penalty doctrine is not engaged if the prejudice or damage to the interests of the second party by the failure of the primary stipulation is insusceptible of evaluation and assessment in money terms. It is the availability of compensation which generates the "equity" upon which the court intervenes; without it, the parties are left to their legal rights and obligations. The point is illustrated by *Waterside Workers' Federation of Australia v Stewart* (1919) 27 CLR 119. A bond was given by the appellant in the sum of £500 on condition that it pay £50 if and so often as its members in combination should go on strike. Isaacs and Rich JJ ((1919) 27 CLR 119, at 131 – 132) emphasised that, whilst refusal to work almost inevitably would cause loss to employers, "no one can ever tell how much loss is sustained by not doing business" and on the principle stated by Lord Macclesfield no relief was to be given against payment of the £50.

[12] It should be noted that the primary stipulation may be the occurrence or non-occurrence of an event which need not be the payment of money (Story, *Commentaries on Equity Jurisprudence as Administered in England and America*, 13th ed (1886), Vol 2 at [1314]). Further, the penalty imposed upon the first party upon failure of the primary stipulation need not be a requirement to pay to the second party a sum of money.

[13] In *Jobson v Johnson* [1989] 1 WLR 1026 at 1034-1035 and 1039 respectively; [1989] 1 All ER 621 at 628 and 632 Dillon LJ and Nicholls LJ explained that there is no distinction in principle here between a stipulation upon default for the transfer (or the use) (See *Forestry Commission (NSW) v Stefanetto* (1976) 133 CLR 507 at 519-521 per Mason J; [1976] HCA 3) of property and a payment of money; such a distinction would elevate form over substance. In that case, cl 6(b) of a share sale contract provided that upon default in payment of an instalment of the purchase price the

Andrews v Australia and New Zealand Banking Group Ltd cont.

purchaser was obliged to retransfer the shares to the vendors upon payment of a stipulated sum to the purchaser. The Court of Appeal held that cl 6(b) had the characteristics of a penalty clause. It ordered that either the shares be sold by the purchaser and the amount of the unpaid instalments be paid to the assignee of the vendors; or the current value of the shares, the aggregate of the unpaid instalments and amounts charged on the shares be ascertained and, if this was less than the sum presently due from the vendors under cl 6(b), effect be given to cl 6(b).

[14] It will already be apparent that an understanding of the penalty doctrine requires more than a brief backward glance. In his reasons in *Austin v United Dominions Corporation Ltd* [1984] 2 NSWLR 612 at 626; affd sub nom *AMEV-UDC Finance Ltd v Austin* (1986) 162 CLR 170; [1986] HCA 63 (Gibbs CJ, Mason and Wilson JJ; Deane and Dawson JJ dissenting) after referring to the common law and statutory developments which had occurred by the first half of the 18th century, and noting that the equitable origin of the penalty doctrine was accepted throughout the 18th century, Priestley JA continued:

> In the latter part of the eighteenth century and through much of the nineteenth century the courts showed restlessness with their longstanding duty to relieve against penalties. This has been attributed to the fact that during this period the principle of freedom of contract reached its zenith: see Atiyah, *The Rise and Fall of Freedom of Contract* (1979) at 414-416. Whatever the reason, during the nineteenth century the way in which the law concerning penalties originated and the way in which that law became incorporated in the common law were to some extent lost sight of. At the same time the operation of that law was clarified by the recognition of the distinction between a penalty and a genuine pre-estimate of liquidated damages.

[15] The formulation of that distinction between a penalty and a pre-estimate of liquidated damages which was made by Lord Dunedin in *Dunlop Pneumatic Tyre Co Ltd v New Garage and Motor Co Ltd* [1915] AC 79 at 86-87 has been described as a product of centuries of equity jurisprudence (Rossiter, *Penalties and Forfeiture*, (1992) at 33). It was recently applied by this court in *Ringrow Pty Ltd v BP Australia Pty Ltd* (2005) 224 CLR 656 at 662-663 [11]-[12]; [2005] HCA 71. See also the opinion of Douglas J in *Priebe & Sons Inc v United States* 332 US 407 at 411-412 (1947)). But the present dispute requires attention at an anterior stage of analysis, namely identification of those criteria by which the penalty doctrine is engaged.

The course of the Federal Court litigation

[28.45] [16] The litigation was instituted and has been conducted in the Victorian District Registry of the Federal Court. Section 5 of the *Federal Court Act* creates the Federal Court as a court of law and equity. The governing law for the litigation is the common law of Australia as modified by applicable federal and Victorian statute law (*Judiciary Act 1903* (Cth), s 80).

[17] Before this court there is that part of a pending application for leave to appeal to the Full Court of the Federal Court removed into this court by order made 11 May 2012. That order removed grounds 1-4 of the proposed appeal by the applicants from the answers to certain separate questions given by the primary judge (Gordon J) (*Andrews v Australia and New Zealand Banking Group Ltd* (2011) 288 ALR 611) on 13 December 2011. The interlocutory nature of the proceeding before her Honour necessitates the grant of leave for an appeal to the Full Court (*Federal Court Act*, s 24(1A)) and delineates the process which has been removed into this court.

[18] Shortly put, grounds 1-4 of the proposed Full Court appeal concern the nature and scope of the jurisdiction to relieve against penalties and the question whether relief is available only after the penalty is imposed upon a breach of contract.

[19] The Federal Court litigation concerns fees identified as honour, dishonour, and non-payment fees charged by the ANZ in respect of various retail deposit accounts and business deposit accounts, and fees identified as over limit and late payment fees charged by the ANZ in respect of consumer credit card accounts and commercial credit card accounts; these fees were identified in the reasons of the primary judge as "exception fees".

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[20] The substance of the relevant, but awkwardly expressed, separate questions before the primary judge was to ask whether the exception fees were payable upon breach by the applicants of contractual obligations to the ANZ, and, in the alternative, to ask whether it had been the responsibility of the applicants to see that the circumstances occasioning the imposition of the exception fees did not arise. If there was an affirmative answer to either of the alternative questions, it then was asked whether the fees were "capable of being characterised as a penalty by reason of that fact".

[21] The primary judge found that the late payment fee was payable upon breach of contract and therefore was capable of characterisation as a penalty. The ANZ has not sought to appeal against that finding.

[22] However, in respect of the honour, dishonour, non-payment and over limit fees the primary judge held that these were not charged by the ANZ upon breach of contract by the customer, nor was the occurrence of the event upon which the fees were charged (overdrawing the account or credit limit or attempting to do so) an event which the customer had an obligation or responsibility to avoid ((2011) 288 ALR 611 at 667-668 [205]-[208]). Having thus answered in the negative each of the alternative questions, the primary judge held it was unnecessary to answer the question whether these fees were capable of characterisation as a penalty.

[23] However, her Honour did find that under the pre-existing terms agreed between them, these fees were charged by the ANZ as a consequence of the decision of the ANZ to afford or to decline the provision of further accommodation to the customer. The ANZ did so respectively by approving or authorising payment on an "instruction" issued to it by the customer, or by refusing to do so, where the honouring of the "instruction" would have the effect of overdrawing the customer's account or exceeding the account credit limit. But the separate questions were not so framed as to ask whether, by reason of these conclusions just mentioned, the fees were incapable of characterisation as penalties. Hence, the proposed grounds of appeal which are presently before this court (grounds 1-4) do not include an express challenge to those significant findings. Nevertheless, it will be necessary in these reasons to make further reference to them (At [79]). Ground 6, which is not before this court, asserts error by her Honour in failing to characterise the fees as payable on breach.

…

[26] The principal findings of the primary judge made irrelevant the concession by the ANZ that it did not determine the quantum of these fees by reference to a sum which would have constituted a genuine pre-estimate of the damage the ANZ might suffer as a consequence of permitting the overdrawing of an account.

[27] The applicants plead that the fees in question were imposed upon or in default of the occurrence of stipulated events but were "out of all proportion" to the loss or damage which might have been sustained by the ANZ by reason of the occurrence of those events.

[28] The applicants also submit to this court that these fees were charged "for a service with no content". Further, the applicants contend that despite the form of the honour fee, with the provision of further accommodation by the ANZ to the customer, in substance it is a disguised penalty.

The Interstar decision

[28.50] [29] In reaching her conclusion respecting the scope of the penalty doctrine, the primary judge, with respect quite properly, followed what had been decided by the New South Wales Court of Appeal in *Interstar Wholesale Finance Pty Ltd v Integral Home Loans Pty Ltd* (2008) 257 ALR 292. In that case the Court of Appeal held ((2008) 257 ALR 292 at 321-330) that the primary judge (Brereton J) (*Integral Home Loans Pty Ltd v Interstar Wholesale Finance Pty Ltd* (2007) Aust Contract Reports 90-261 at 90,037; *Integral Home Loans Pty Ltd v Interstar Wholesale Finance Pty Ltd (No 2)* [2007] NSWSC 592) had erred in denying that the doctrine had ceased to be one of equity and now was wholly legal in nature and in concluding that the doctrine was not limited to the failure of stipulations which were breaches of contract.

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[30] The appellants in *Interstar* were finance companies and the respondents conducted the business of "mortgage originators". Upon the happening of any one of a range of events, the appellants were empowered to terminate agreements, under which they made to the respondents payments described as commissions. Not all of these events were breaches of those agreements by the respondents and not all were acts or omissions over which the respondents had control …. The respondents successfully contended at first instance that the event giving rise to the penalty, as the act or event upon which liability was conditioned, could be the termination of the agreements even if the ground for termination was not breach thereof. Brereton J held that the termination clause was a penalty provision and wholly void ([2007] NSWSC 592 at [7], [49]) and that the respondents were entitled to continued receipt of the commissions. The Court of Appeal held that the agreements conferred no accrued rights upon the respondents, so that upon termination there was no forfeiture of accrued property for the collateral purpose of encouraging compliance with the contract and no engagement of the penalty doctrine; further, the character of the provisions was to define entitlement to the commissions ((2008) 257 ALR 292 at 319).

[31] These holdings would have been sufficient for the Court of Appeal to dispose of the case. However, the court went on, with reference to observations of Mason and Wilson JJ in *AMEV-UDC Finance Ltd v Austin* (*AMEV-UDC*) (1986) 162 CLR 170 at 191, to state that "[t]he modern rule against penalties is a rule of law, not equity" (2008) 257 ALR 292 at 320). The Court of Appeal also, with particular reference to the speech of Lord Roskill in *Exports Credits Guarantee Dept v Universal Oil Products Co* (*ECGD*) [1983] 1 WLR 399; [1983] 2 All ER 205 at 402-404, 223-224 said that the limits of the doctrine of penalties arise "from the consequences of breach of contract" and so reflect "the public policy of keeping commercial parties to their bargains" ((2008) 257 ALR 292 at 324).

[32] The applicants seek in this court to challenge these statements in *Interstar*. For the reasons which follow that challenge should succeed.

Bonds, contracts and the meanings of "condition"

[33] Before proceeding further with the challenge which the applicants seek to make to *Interstar*, something first should be said about the nature of the bond because it was here that equity first intervened. This, in turn, involves consideration of the use of the term "condition" in the relevant legal discourse. Like the term "rescission" (see *Westralian Farmers Ltd v Commonwealth Agricultural Service Engineers Ltd* (1936) 54 CLR 361; [1936] HCA 6 at 379-380 (CLR); *Johnson v Agnew* [1980] AC 367 at 392-393 and 396-397), the term "condition" has several distinct meanings and applications. This must clearly be kept in mind to avoid engendering confusion of legal principle.

[34] Unlike a simple contract containing an exchange of promises, which are classified as conditions or warranties, a bond is an instrument under seal, usually a deed poll, whereby the obligor is bound to the obligee. The ordinary form of bond in use in modern times is not merely for a certain money payment, but is accompanied by a condition in the nature of a defeasance, the performance or occurrence of which discharges the bond.

[35] One meaning of "condition" is an important, vital, or material promise, the breach of which will repudiate a contract; the term "breach of contract" is used in contrast to "breach of warranty". But as Professor Stoljar pointed out in his article "The Contractual Concept of Condition" ((1953) 69 *Law Quarterly Review* 485 at 486-487) while the obligation under a bond may be said to be conditioned upon the occurrence of a particular event, it is important to note that the term "condition" is not used here in the sense just described with respect to breaches of contract.

[36] The distinction is drawn as follows in Williston, *A Treatise on the Law of Contracts* (Fourth ed (2000), §42:15; see also Halsbury, *The Laws of England*, 1st ed (1908), Vol 3 at 80):

> The common early form of contractual obligation was a bond upon condition, so that in the early books the word "obligation" without more is used to designate such a bond. The purpose of the bond obviously was, and still is, to secure performance of the condition, but instead of attempting to secure this result by exacting a promise from the obligor to perform

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> the condition, there is an acknowledgment of indebtedness – in effect a promise to pay a sum of money if the condition is not performed.

[37] In these reasons the term "stipulation" has been used when describing the penalty doctrine (at [10]-[11]). This reflects the origin of the penal obligation or condition, as known today, in the stipulations (stipulatio) in Roman law at a period where stipulations for the payment of money were alone valid. The practical method at that period of stipulating for the performance of a collateral act was to make the payment of a money sum conditional on the non-performance of the desired act; that sum might be recovered in full even if it exceeded the value of the stipulated act or forbearance (Loyd, "Penalties and Forfeitures" (1915) 29 *Harvard Law Review* 117).

[38] Williston wrote that it came to be recognised in Roman law that the amount stated in a stipulation and named as a penalty might be reduced if found to be excessive (Williston, *A Treatise on the Law of Contracts*, rev ed (1957), Vol 3, §792. See also Loyd, "Penalties and Forfeitures", (1915) 29 *Harvard Law Review* 117 at 117-118). But in the early common law the bond, regarded as a penal sum, secured strict performance of the principal obligation. In modern civil law systems the subject is not dealt with on uniform principles (Williston, *A Treatise on the Law of Contracts*, rev ed (1957), Vol 3, §792). It is said, for example, that the Louisiana courts have confused the principles of the governing Civil Code and their French derivation (Cox, "Penal Clauses and Liquidated Damages, a Comparative Survey" (1958) 33 *Tulane Law Review* 180 at 186-187) with the common law concept of liquidated damages (Cox, "Penal Clauses and Liquidated Damages, a Comparative Survey", (1958) 33 *Tulane Law Review* 180 at 192). Section 343 of the German Civil Code, which came into force in 1900, provides that upon the motion of the obligor a "disproportionately high" penalty may be reduced, by a judgment, to an appropriate amount, after taking into account "every legitimate interest" of the obligee, not merely the obligee's economic interest (Zimmermann, *The Law of Obligations*, (1996) at 107-108).

[39] The condition in a bond must not be unlawful, for example, in general or unreasonable restraint of trade (*Mitchel v Reynolds* (1711) P Wms 181; 24 ER 347). However, the condition may be an occurrence or event which need not be some act or omission of the obligor, analogous to a contractual promise by the obligor. Moreover, the condition is not invalid merely because it provides for the performance of an act or the happening of an event which is improbable, albeit, at the outset (With respect to supervening impossibility, see Williston, *A Treatise on the Law of Contracts*, 4th ed (2000), §42:17), not impossible. Thus, in *Campbell v French* (1795) 6 TR 200 at 211; 101 ER 510 at 516, Lord Kenyon, in delivering the opinion of the Court of King's Bench, said:

> The general law respecting conditions is extremely well settled in a vast variety of books and cases; and, without detailing them, it is sufficient to say that they will be found in *Rolle's Abridgment*, and in *Coke upon Littleton*; and the uncontrolled result from them all is, that if the condition be an impossible condition, the bond becomes single, but if the condition be only improbable, as in the instance put, if the Pope of Rome should come here to-morrow, yet that condition is a good condition however improbable it may be.

It also should be noted that from the time of Lord Nottingham, the "conditions" which attracted relief in equity extended beyond those described as such in bonds and simple contracts, and to provisions which were secured by a determinable estate in land and to conditions for the vesting of an estate ("Pitcarne v Bruce" (1676) *Lord Nottingham's Chancery Cases, Volume II*, Selden Society Vol 79 (1961), Case 587; Yale, "Introduction" at 20).

[40] While an action in debt for the sum of the bond was the remedy for enforcement of the bond at law, equity looked to what was involved in satisfaction of the condition for which the bond was security. However, as noted above (at [10]), unless the failure of the condition was compensible there was no "handle" for equity to intervene (Lord Macclesfield, in *Peachy v Duke of Somerset* (1721) 1 Strange 447 at 453; 93 ER 626 at 630, said that "it is the recompence that gives this court a handle to grant relief"). A further example of this requirement for equitable intervention is presented by the

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decision of the United States Supreme Court in *Clark v Barnard* 108 US 436 at 455-459 (1883). A bond was given to the government by the holder of a statutory franchise for the completion of an item of public infrastructure by a given date; the prejudice to the body politic by failure to complete did not sound in damages.

[41] Williston describes the position as follows (Fourth ed (2000), §42:15):

> The court of equity early assumed jurisdiction to limit the recovery in an action on a bond to the damages actually suffered by the obligee, regarding the literal enforcement of the obligation as unconscientious. Although some eminent authorities expressed disapproval of the doctrine of equitable relief against penalties and forfeitures as "a principle long acknowledged in this court but utterly without foundation," others of equal note have urged that "[t]here is no more intrinsic sanctity in stipulations by contract than in other solemn acts of the parties which are constantly interfered with by courts of equity upon the broad grounds of public policy on the pure principles of natural justice."
>
> A distinction was taken at an early day between bonds "where the party might be put in as good a plight as where the condition itself was literally performed," and cases "where the condition was collateral and no recompense or value could be put on the breach of it." In the former case, equity would give relief; in the latter case, it would not; and this distinction has developed into the modern distinction between penalties and liquidated damages. (footnotes omitted)

[42] If the condition of the bond was the conveyance or settlement of an estate or interest in land, or the non-performance of certain acts, for example, by way of competition with a former business partner, a court of equity might treat the condition as evidence of an agreement to convey (*Parks v Wilson* (1724) 10 Mod 515 at 518; 88 ER 832 at 833; *Prebble v Boghurst* (1818) 1 Swans 309 at 318-319; 36 ER 402 at 407-408; Evans, Appendix to Pothier, *A Treatise on the Law of Obligations, or Contracts*, (1806), Vol 2, Appendix XII at 81-85), or of a non-competition covenant (*Hardy v Martin* (1783) 1 Cox 26; 29 ER 1046; *National Provincial Bank of England v Marshall* (1888) 40 Ch D 112). In such cases, specific performance then might be decreed or an injunction granted to enforce the negative covenant; damages would be an inadequate remedy and so it would be no answer by the defendant to offer to pay the sum fixed by the bond. But, contrary to what the ANZ submitted, these cases do not establish any general proposition as to the contractual character of the condition in a bond.

[43] Some analogy to the issues which presently arise is presented by those concerning the nature of a deposit which were considered in *Federal Cmr of Taxation v Reliance Carpet Co Pty Ltd* (2008) 236 CLR 342; [2008] HCA 22 at 349-352 [22]-[27] (CLR). The law respecting bonds, like that respecting deposits, was received from Roman law and developed before the rise of what might be called the modern law of contract. The courts of equity did not treat their jurisdiction to relieve against penalties and forfeitures as extending to forfeiture of a deposit, being an amount paid as an earnest of performance (*NLS Pty Ltd v Hughes* (1966) 120 CLR 583; [1966] HCA 63 at 589 (CLR)). Those courts did, however, relieve against stipulations which were penal conditions in bonds.

[44] The courts of equity went on to extend their jurisdiction to deal with stipulations which were penal provisions in simple contracts. But it does not follow that that extension was a change to the nature of the jurisdiction. In particular, the requirement that equity intervene to ensure the recovery of no more than compensation, accommodated the "fundamental principle" of modern contract law to redress breach by adequate compensation (Farnsworth, *Contracts*, 4th ed (2004), §12.18; cf *Attorney General v Blake* [2001] 1 AC 268 at 284-285).

[45] Enough has been said to show that (a) the first field for the operation of the equitable doctrine concerned the enforcement of bonds, (b) with respect to bonds, the expressions "obligation" and "condition" are not employed in the same or corresponding sense as appears in dealing with the breach of contractual promises, and (c) it does not follow, as the ANZ would have it, that in a simple

contract the only stipulations which engage the penalty doctrine must be those which are contractual promises broken by the promisor.

Limited scope of the penalty doctrine?

[28.55] [46] Thus, while the ANZ maintains that the penalty doctrine has the limited scope, respecting breaches of contract, which in *Interstar* the Court of Appeal identified with *ECGD*, this limitation should not be accepted.

[47] What was in issue in *ECGD* was a defence to an action upon an indemnity given to a guarantor which was a government body to hold the guarantor harmless by reimbursement of moneys it paid to answer calls on the guarantee. The circumstance, as was the case in *ECGD*, that this might turn out to have been a commercially improvident arrangement for the indemnifier would not attract the intervention of equity when the indemnity was called upon by the guarantor. The liability of the indemnifier would mirror the loss incurred by the guarantor. It was in that particular situation that Lord Roskill said in *ECGD* [1983] 1 WLR 399 at 403; [1983] 2 All ER 205 at 224:

> [P]erhaps the main purpose, of the law relating to penalty clauses is to prevent a plaintiff recovering a sum of money in respect of a breach of contract committed by a defendant which bears little or no relationship to the loss actually suffered by the plaintiff as a result of the breach by the defendant.

[48] In *AMEV-UDC* Gibbs CJ (1986) 162 CLR 170 at 174 emphasised that this court was not required to consider the proposition, said to be derived from *ECGD*, that no clause which provided for the payment of money on the happening of a specified event other than a breach of a contractual duty owed by the contemplated payor to the contemplated payee could ever be a penalty.

[49] Brereton J in *Interstar* (2007) Aust Contract Reports 90-261 at 90,044 rejected the submission that liability to pay, forfeit or suffer the retention of money or property which engages the penalty doctrine may never be triggered by the failure in occurrence of an event which is stipulated in a prior agreement between the parties but is not itself the subject of a contractual promise between them. Brereton J pointed to the regard paid by equity to substance rather than merely to form and referred to the grant of relief in the case of penal bonds for non-performance of a condition which was not the subject of any contractual promise ((2007) Aust Contract Reports 90-261 at 90,044). These are significant considerations. They are not displaced by fixing solely upon a breach of contract by the party seeking relief from an alleged penalty.

[50] In *Interstar* the Court of Appeal misunderstood the scope of the penalty doctrine. The question whether in a given case the operation of a stipulation which is not a contractual promise may attract the penalty doctrine is not foreclosed by the rejection in the Court of Appeal of what had been said by Brereton J at first instance.

The common law action of assumpsit

[51] There remains for consideration the further proposition in *Interstar* which, rather than acknowledging the concurrent administration in New South Wales (as elsewhere) of law and equity, appears to treat the penalty doctrine as having disappeared from equity by absorption into the common law action of assumpsit. This proposition should be rejected.

[52] It will be recalled that the common law courts developed assumpsit as a general remedy for breach of agreements not under seal, simple contracts, for which an action for breach of covenant would not lie. Moreover, assumpsit was extended to certain cases where there was no more than an implied undertaking to pay, thus giving the occasion for the unhappy expression "quasi-contract" (Anson wrote that where "for purposes of pleading" obligations acquired "the form of agreement", the term "quasi-contract" was used "for want of a better name": Ansons, *Principles of the English Law of Contract*, 10th ed (1903) at 382).

[53] With respect to money bonds, by the time of Lord Nottingham, who was Lord Chancellor 1673-1682, and thus well before the statutes dealing with the procedure in actions upon bonds (8 &

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9 Will III, c 11 (1696); 4 & 5 Anne, c 16 (1705). The relevant statutory texts are set out in Newland, "Equitable Relief Against Penalties", (2011) 85 *Australian Law Journal* 434 at 442), the common law courts significantly revised their procedures with respect to trials of actions pleaded in assumpsit. They did so in the fashion described by Lord Nottingham in his handbook (first published only in 1965) "Prolegomena of Chancery and Equity" and repeated by Priestley JA in *Austin* ([1984] 2 NSWLR 612 at 625-626. See also Simpson, "The Penal Bond with Conditional Defeasance", (1966) 82 *Law Quarterly Review* 392 at 419):

> The settling of the chancery practice of relieving penalties brought a prompt response from the common law courts. Lord Nottingham recorded it in his *Prolegomena*, in Ch V headed "Equitas Sequitur Legem", as follows:
>
> 10. In the midst of those cases which refer to this head, it may be worth the while a little to invert the rule, and to consider how far lex sequitur equitatem, that is, to observe how courts of law have changed their rules and, when they saw that equity would relieve, have chosen rather to relieve the parties themselves than send them hither.
> 11. Thus in all suits on bonds it's now become the course of the Court, that, if the defendant will pay the principal and interest and charges, the plaintiff shall be obliged to accept it till plea pleaded, else the defendant shall have a perpetual imparlance (An imparlance denoted the time given to the defendant to plead either of course or in the discretion of the court (*Mellor v Walker* (1671) 2 Wms Saund 1 at 1 note (2) [85 ER 524 at 530]), and a perpetual imparlance would have had the effect of a permanent stay), and all this to prevent a suit in Chancery, which otherwise would give the same relief (at 203).
>
> The position thus reached was regulated at common law by statute in 1696 in regard to plaintiffs suing for penalties for non-performance of covenants or agreements (8 & 9 Will III, c 11, s 8) and in 1705 in regard to money bonds (4 & 5 Anne, c 3, s 12). Practice in England based on the Statutes of William and Anne had the effect of making the law concerning penalties as familiar to the common law courts as in chancery.

[54] The effect of the statute of 1705 upon the enforcement of a money bond was that the debtor was discharged on paying principal, interest and costs; with respect to other bonds and covenants with a penalty the statute of 1696 enabled damages to be assessed for such breaches as were proved, execution being stayed on payment of the amount assessed and costs, but with the judgment remaining to answer any further breach (*White and Tudor's Leading Cases in Equity*, 9th ed (1928), Vol 2 at 224. See also *AMEV-UDC Finance Ltd v Austin* (1986) 162 CLR 170 at 202 per Deane J; *Instruments Act 1958* (Vic), s 30).

[55] Writing in 1769, Blackstone had identified as one of the advances made since the revolution of 1688, "the liberality of sentiment, which (though late) has now taken possession of our courts of common law, and induced them to adopt (where facts can be clearly ascertained) the same principles of redress as have prevailed in our courts of equity, from the time Lord Nottingham presided there" (Blackstone, *Commentaries on the Laws of England*, (1769), bk 4 at 435). This adoption of equitable doctrine by the common law courts, in the period before the introduction of the Judicature system, was not limited to the principles concerning penalties. The trend was the subject of comment in 1845 by the standard text *Law Studies* written by Samuel Warren (Second ed (1845) at 300-302. A recent observation of this "fusion by convergence" is made by Professor Polden in *The Oxford History of the Laws of England*, Vol XI (2010) at 757). For example, Parke B spoke in *Smith v Winter* ((1838) 4 M & W 454 at 464 [150 ER 1507 at 1512]) of the equitable doctrine with respect to the discharge of sureties having "crept into the law"; the result was that a parol agreement by the creditor to give time to the principal debtor might be pleaded to an action at law on a guarantee not given under seal (Rowlatt, *The Law of Principal and Surety*, 3rd ed (1936) at 252-254. However, as de Colyar noted (*A Treatise on the Law of Guarantees*, 3rd ed (1897) at 424-425), "of course the surety was still at liberty to resort to a court of equity for relief").

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[56] The position established in the common law courts with respect to penalties was exemplified by the remarks of Lord Mansfield in *Lowe v Peers* (1768) 4 Burr 2225 at 2228-2229; 98 ER 160 at 162, Lord Ellenborough in *Wilbeam v Ashton* (1807) 1 Camp 78; 170 ER 883, Tindal CJ in *Kemble v Farren* (1829) 6 Bing 141 at 148; 130 ER 1234 at 1237, and Parke B in *Horner v Flintoff* (1842) 9 M & W 678 at 680-681; 152 ER 287 at 287-288, *Galsworthy v Strutt* (1848) 1 Ex 659 at 662-666; 154 ER 280 at 282-283 and *Atkyns v Kinnier* (1850) 4 Ex 776 at 783-784; 154 ER 1429 at 1432-1433. In *Kemble v Farren* (1829) 6 Bing 141 at 148; 130 ER 1234 at 1237, an action in assumpsit by the manager of the Covent Garden Theatre against an actor who had failed to meet an engagement at that theatre, Tindal CJ said:

> But that a very large sum should become immediately payable, in consequence of the nonpayment of a very small sum, and that the former should not be considered as a penalty, appears to be a contradiction in terms; the case being precisely that in which courts of equity have always relieved, and against which courts of law have, in modern times, endeavoured to relieve, by directing juries to assess the real damages sustained by the breach of the agreement.

[57] In *Reynolds v Bridge* (1856) 6 El & Bl 528 at 541; 119 ER 961 at 966, a decision of the Court of Queen's Bench, Coleridge J referred to *Astley v Weldon*; *Kemble v Farren* and *Atkyns v Kinnier* and concluded that:

> the principle seems to be, that, if you find a covenant the breach of which will occasion a damage, not uncertain, but such as is capable of being ascertained, as where there is a particular sum to be paid which is much less than the sum named as payable upon the breach, there it is held that the last named sum is specified by way of penalty, because a Court of equity would limit the amount to be actually paid.

[58] To the above English authorities it may be added that by the mid-19th century, common law courts in the United States "almost universally" adopted a practice whereby, although judgment for the full amount of the bond was entered, the courts then proceeded to "chancery the bond"; execution issued only for the just amount found to be due on a reference to a master, assessor, or jury (Merwin, *The Principles of Equity and Equity Pleading*, (1895) at 220). It also should be noted that where in Chancery it appeared that the sum in question was a penalty, the court would direct an issue of quantum damnificatus for jury determination (*AMEV-UDC Finance Ltd v Austin* (1986) 162 CLR 170 at 187; *Astley v Weldon* (1801) 2 Bos & Pul 346 at 350-351; 126 ER 1318 at 1321 per Lord Eldon; *Hardy v Martin* (1783) 1 Cox 26; 29 ER 1046; Daniell, *The Practice of the High Court of Chancery*, 5th ed (1871), Vol 1 at 1008-1010).

[59] However, the common law courts were constrained by the limitations of their remedies and procedures. Thus, they lacked the procedures to take complex accounts and the remedy of injunction to restrain, for example, attempts by the defendant to recover the amount of a bond by an action at law (*Edwards-Wood v Baldwin* (1863) 4 Giff 613; 66 ER 851. The *Common Law Procedure Act 1854* (UK) (17 & 18 Vict, c 125) was directed to enlarging the jurisdiction of the common law courts, having regard to the inconvenience of concurrent proceedings necessary in certain cases to establish a right in a common law court and to obtain a remedy in Chancery. However, the power of the common law courts to grant injunctions under that Act was limited to restraining the repetition or continuation of breaches of contract in respect of which the plaintiff was entitled to bring an action for damages (Sections 79 and 82).

[60] Where the collateral stipulation relieved against was one not for the payment of money but for the transfer or use of property, there was no scope in an assumpsit action for what Nicholls LJ called "the scaling down exercise" by which a court of equity would tailor specific relief to ensure adequate compensation, but no more (*Jobson v Johnson* [1989] 1 WLR 1026; [1989] 1 All ER 621 at 1042 and 1045-1046 (WLR), 634, 636-637 (All ER)). This had to await the arrival of the united court administration under the Judicature system. Further, as Lord Eldon pointed out in *Seton v Slade*

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(1802) 7 Ves Jun 265 at 273-274; 32 ER 108 at 111, where the condition of the bond was a temporal stipulation, it remained the position that in equity time was not of the essence.

[61] The developments in the practice of the common law courts in assumpsit actions before the introduction of the Judicature system did not somehow supplant the equity jurisdiction cf *AMEV-UDC Finance Ltd v Austin* (1986) 162 CLR 170 at 201; *Metro-Goldwyn-Mayer Pty Ltd v Greenham* [1966] 2 NSWR 717 at 72.

[62] Moreover, the applicants correctly submit that the ANZ can point to no reason in principle why the scope of the equitable doctrine should be restricted to those cases today where, hypothetically, an assumpsit action would have lain at common law in the 19th century. Indeed, considerations of principle point in the other direction. It is undoubtedly the case that in fields of private and public law the principles of equity continue to develop by principled advances of traditional doctrine (*Australian Broadcasting Corporation v Lenah Game Meats Pty Ltd* (2001) 208 CLR 199; [2001] HCA 63 at 241 [90]). Sir Anthony Mason has noted that while the common law comprised rules which traditionally existed as a body of customary law, equity "made no secret of its evolutionary development" (Mason, "The Impact of Equitable Doctrine on the Law of Contract", (1998) 27 *Anglo-American Law Review* 1 at 3. See also *PGA v R* (2012) [2012] HCA 21 [20]-[21]; Watt, *Equity Stirring*, (2009) at 231-232). Why, with respect to the penalty doctrine, that evolutionary process should be restricted by hypothetical assumpsit actions is not apparent.

[63] A further point is that, to the extent that the common law courts had so developed their procedures and the action in assumpsit by the second half of the 19th century as in some situations to speak with courts of equity with the same voice, there was at that time, and within the terms of the Judicature legislation, no "conflict or variance … with reference to the same matter"; and so there was no occasion under the statute for the doctrine of equity to "prevail" (*Judicature Act 1873* (UK), s 24(11). See *Supreme Court Act 1986* (Vic), s 29). It should be emphasised that, in any event, under the Judicature legislation it is equity not the law that is to prevail. In *Interstar* the Court of Appeal thus had no basis for the proposition that the penalty doctrine is a rule of law not of equity.

AMEV-UDC in the High Court

[28.60] [64] That counsel for the successful respondent in *AMEV-UDC* was well aware of the pre-Judicature developments in the common law courts is apparent from the citation ((1986) 162 CLR 170 at 172-173) of Lord Eldon's judgment in *Astley v Weldon* (1801) 2 Bos & Pul 346; 126 ER 1318, which was delivered when he was Chief Justice of the Court of Common Pleas.

[65] There is, with respect, no ground upon which to cavil with four of the five propositions distilled from the history of the penalty doctrine and stated in *AMEV-UDC* by Mason and Wilson JJ as follows ((1986) 162 CLR 170 at 190):

> (1) equity would only relieve where compensation could be made for the actual damage suffered by the party seeking to recover the penalty; (2) the actual damage suffered by the party was assessed in an action at common law, such as an action of covenant, or upon a special issue quantum damnificatus which could be joined in an action on the case … (3) the expression "actual damage" seems to have been used in contradistinction to "agreed sum" or "liquidated" or "stipulated" damages, not by way of opposition to damage which was recoverable at law; (4) there seems to have been no instance of equity awarding compensation over and above the amount awarded as common law damages, other than cases in which equity would not relieve against the penalty; and (5) relief was granted, in the case of penal bonds, where there was no express contractual promise to perform the condition (see *Hardy v Martin* (1783) 1 Cox 26; 29 ER 1046), though it seems such a promise could in many cases readily be implied.

[66] However, as noted earlier in these reasons under the heading "*Bonds, contracts and the meanings of 'condition'* ", a reference such as that in proposition (5) to the implication into a bond of an "express

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contractual promise to perform the condition" tends to obscure the path taken by the common law courts in developing the action in assumpsit.

[67] The upshot is that at first instance in *Interstar* (2007) Aust Contract Reports 90-261 at 90,037, Brereton J properly understood the significance of what had been said by Mason and Wilson JJ, when he concluded:

> [T]heir Honours' judgment does not decide that relief against a penalty is available only when it is conditioned upon a breach of contract; to the contrary, it suggests that relief may be granted in cases of penalties for non-performance of a condition, although there is no express contractual promise to perform the condition – apparently on the basis that despite the absence of such an express promise, a penalty conditioned on failure of a condition is for these purposes in substance equivalent to a promise that the condition will be satisfied.

[68] A further statement by Mason and Wilson JJ in *AMEV-UDC* (1986) 162 CLR 170 at 191, that it was the effect of the Judicature system which led:

> to the conclusion that the equitable jurisdiction to relieve against penalties withered on the vine for the simple reason that, except perhaps in very unusual circumstances, it offered no prospect of relief which was not ordinarily available in proceedings to recover a stipulated sum or, alternatively, damages,

overlooks the proposition that the only relevant effect of the Judicature system, as explained above, was upon the procedures in the unified court system not upon substantive doctrine. Thereafter, in whatever court the action was brought in respect of a penalty, a money remedy, declaratory and injunctive relief and the taking of an account were available in that one action.

The Dunlop Case

[69] Extensive reference was made by the primary judge to the decision of the House of Lords in *Dunlop Pneumatic Tyre Co Ltd v New Garage and Motor Co Ltd* [1915] AC 79. The conduct of that litigation illustrates the operation just mentioned of the Judicature system. Something more should be said on that matter.

[70] The appellant in *Dunlop* was a manufacturer of motor tyres and related products which it sold under the registered trade mark "Dunlop". It allowed trade purchasers discounts from the list prices, but in order to prevent under-selling insisted that the trade purchasers agree not to sell to private buyers at less than list prices or to trade buyers at less than list prices after deducting certain discounts. The trade purchasers also agreed, as agents for the appellant, to obtain from their trade customers similar undertakings to observe list prices of the appellant.

[71] It appeared to follow from the then recent decision of Kekewich J in *Elliman, Sons & Co Ltd v Carrington & Son Ltd* [1901] 2 Ch 275 that resale price maintenance stipulations of this nature were not contracts in restraint of trade (See Heydon, *The Restraint of Trade Doctrine*, 3rd ed (2008) at 248-249). No challenge to that decision was made in *Dunlop*.

[72] A company curiously styled A. Pellant Ltd had a contract with the appellant under which it received considerable quantities of the appellant's products. Before supplying these goods to the respondent as sub-purchaser, A. Pellant Ltd, as required by its contract with the appellant, required the respondent to enter into a contract with it, as agent for the appellant (cf *Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd* [1915] AC 847). The contract obliged the respondent on its part to observe the restrictions described above. This contract contained the clause:

> We agree to pay to [the appellant] the sum of £5 for each and every tyre, cover or tube sold or offered in breach of this agreement, as and by way of liquidated damages and not as a penalty, but without prejudice to any other rights or remedies [A. Pellant Limited] or [the appellant] may have hereunder.

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The contract appears to have been in a standard form, and was headed "Price Maintenance Agreement to be entered into by trade purchasers of Dunlop Motor Tyres" (See [1915] AC 79 at 80-81, where the full text is set out).

[73] The appellant commenced an action in the King's Bench Division, seeking an equitable remedy, namely an injunction to restrain further breaches of this contract by the respondent, in particular, by making further sales of a tyre cover for £3.12.11 per item instead of the list price of £4.1.0. The appellant also sought damages. One of the defences pleaded was that the sum of £5 stipulated in the contract was a penalty.

[74] The primary judge (Phillimore J) granted the injunction and also directed an inquiry as to damages. The Court of Appeal (Vaughan Williams and Swinfen Eady LJJ; Kennedy LJ dissenting) held that the stipulation as to £5 was a penalty and, moreover, the appellant was entitled only to nominal damages in the sum of £2. On the other hand, at the earlier inquiry before the Master, evidence had been accepted that price cutting by a particular firm soon became generally known and the local agents of the appellant suffered a loss of business and resorted for supplies to other firms, thereby upsetting the selling organisation of the appellant. The Master had assessed the damages at £250.

[75] In the House of Lords, Lord Atkinson summarised the evidence directed to showing that even if the sum agreed appeared imprecise as a pre-estimate of damage, it protected the appellant's interest in preventing undercutting, which would disorganise its trading system (*Dunlop Pneumatic Tyre Co Ltd v New Garage and Motor Co Ltd* [1915] AC 79 at 91-93). Thus the critical issue, determined in favour of the appellant, was whether the sum agreed was commensurate with the interest protected by the bargain.

[76] The effect of the decision of the House of Lords was to restore the outcome at first instance and the award made by the Master upon the inquiry.

[77] The litigation in *Dunlop*, where in the one court, and in the same proceeding, legal and equitable remedies were sought by the plaintiff and the defendant raised the penalty doctrine in its defence, illustrates the place of the penalty doctrine in a court where there is a unified administration of law and equity but equitable doctrines retain their identity.

Conclusion

[28.70] [78] The upshot is that the restrictions upon the penalty doctrine urged by the Court of Appeal in *Interstar* should not be accepted. The primary judge erred in concluding, in effect, that in the absence of contractual breach or an obligation or responsibility on the customer to avoid the occurrence of an event upon which the relevant fees were charged, no question arose as to whether the fees were capable of characterisation as penalties.

[79] Indeed, a further issue appears to have been presented by her Honour's findings set out above (at [23]). This may be stated as being whether the requirement to pay the fees in question was not enjoyed by the ANZ as security for performance by the customer of its other obligations to the ANZ, or whether the fees were charged by the ANZ, as specified in pre-existing arrangements with the customer, and ANZ, respectively, for the further accommodation provided to the customer by its authorising payments upon instructions by the customer upon which the ANZ otherwise was not obliged to act, or upon refusal of that accommodation.

[80] The operative distinction would be that upon which the majority of the New South Wales Court of Appeal (Jacobs JA and Holmes JA) decided *Metro-Goldwyn-Mayer Pty Ltd v Greenham* [1966] 2 NSWR 717 at 723-724 and 727. Their Honours contrasted a stipulation attracting the penalty doctrine and one giving rise consensually to an additional obligation. This distinction had been identified long before, by Lord St Leonards in *French v Macale* (1842) 2 Drury and Warren 269 at 275-276. (The case was decided when, as Sir Edward Sugden, Lord St Leonards was Lord Chancellor of Ireland), as follows:

> [I]t appears, that the question for the Court to ascertain is, whether the party is restricted by covenant from doing the particular act, although if he do it a payment is reserved; or *whether*

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> *according to the true construction of the contract, its meaning is, that the one party shall have a right to do the act, on payment of what is agreed upon as an equivalent*. If a man let meadow land for two guineas an acre, and the contract is, that if the tenant choose to employ it in tillage, he may do so, paying an additional rent of two guineas an acre, no doubt this is a perfectly good and unobjectionable contract; the breaking up the land is not inconsistent with the contract, which provides, that in case the act is done the landlord is to receive an increased rent (To the same effect were remarks of Lord Loughborough in *Hardy v Martin* (1783) 1 Cox 26 at 27 [29 ER 1046 at 1046-1047]) (emphasis added)

[81] The English and United States authorities in which the distinction thereafter was applied are collected and discussed in the treatise by Pomeroy (Pomeroy, *A Treatise on Equity Jurisprudence*, 5th ed (1941), Vol 2, §437), under the heading "Stipulations not Penalties – Alternative Stipulations".

[82] In *Metro-Goldwyn-Mayer*, the contract for the hiring of films to exhibitors for public showing conferred the right to one screening only. The exhibitor was obliged to pay for each additional screening a sum equivalent to four times the original fee. The questions of construction of the contract were resolved by Jacobs JA and Holmes JA in such a fashion that the penalty doctrine had no application. Jacobs JA concluded ([1966] 2 NSWR 717 at 723):

> There is no right in the exhibitor to use the film otherwise than on an authorized occasion. If he does so then he must be taken to have exercised an option so to do under the agreement, if the agreement so provides. The agreement provides that he may exercise such an option in one event only, namely, that he pay a hiring fee of four times the usual hiring fee.

[83] But it should be emphasised that the determination, with respect to the relevant exception fees, of live issues of this nature is entirely a matter upon further trial, along with the grounds upon which the applicants submit the penalty doctrine does apply to those fees.

Appeal allowed.

[28.75] Note

1. The question as to whether the honour, dishonor, over-limit and late-payment fees in dispute in *Andrews* could be reviewed as penalties was considered by the Federal Court in *Paciocco v Australia and New Zealand Banking Group Ltd* [2015] FCAFC 50. The primary judge found that the late-payment fees constituted penalties. The primary judge found that the other kinds of fees were not able to be reviewed as penalties because they were fees charged to the customer of the bank for additional services. The Full Federal Court upheld the primary judge's treatment of the various honour, dishonor and over-limit fees, agreeing that fees in question were payable in respect to financial accommodation.
2. Whether the late-payment fees were invalid as penalties was considered by the High Court in *Paciocco v Australia and New Zealand Banking Group Ltd* [2016] HCA 28; 258 CLR 525.
3. For different views on this decision, see Carter, Courtney, Peden, Stewart, Tolhurst, "Contractual Penalties: Resurrecting the Equitable Jurisdiction" (2013) 30 *Journal of Contract Law* 99; Peel, "The Rule Against Penalties" (2013) *Law Quarterly Review* 129.

IS THE IMPUGNED STIPULATION PENAL?

[28.80] As seen in the cases below, a highly influential decision in assessing whether a term imposing a sum payable on breach is an invalid penalty, is *Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79. In this case, Lord Dunedin (at 86-7) identified the following relevant considerations: have proved highly influential:

> (1) Though the parties to a contract who use the words "penalty" or "liquidated damages" may prima facie be supposed to mean what they say, yet the expression used is not conclusive. The court must find out whether the payment stipulated is in truth a penalty or liquidated damages …
>
> (2) The essence of a penalty is a payment of money stipulated as in terrorem of the offending party; the essence of liquidated damages is a genuine covenanted pre-estimate of damage …
>
> (3) The question whether a sum stipulated is penalty or liquidated damages is a question of construction to be decided upon the terms and inherent circumstances of each particular contract, judged of as at the time of the making of the contract, not as at the time of the breach …
>
> (4) To assist this task of construction various tests have been suggested, which if applicable to the case under consideration may prove helpful, or even conclusive. Such are:
>
> (a) It will be held to be penalty if the sum stipulated for is extravagant and unconscionable in amount in comparison with the greatest loss that could conceivably be proved to have followed from the breach …
>
> (b) It will be held to be a penalty if the breach consists only in not paying a sum of money, and the sum stipulated is a sum greater than the sum which ought to have been paid …
>
> (c) There is a presumption (but no more) that it is penalty when "a single lump sum is made payable by way of compensation, on the occurrence of one or more or all of several events, some of which may occasion serious and others but trifling damage" …
>
> On the other hand:
>
> (d) It is no obstacle to the sum stipulated being a genuine pre-estimate of damage, that the consequences of the breach are such as to make precise pre-estimation almost an impossibility. On the contrary, that is just the situation when it is probable that pre-estimated damage was the true bargain between the parties.

It appears that these considerations may also be used in assessing whether a secondary stipulation imposing a sum payable on the failure of a primary stipulation not involving breach is a penalty. The modern approach for assessing whether a term is a penalty is discussed in *Paciocccо v Australia and New Zealand Banking Group Ltd* [2016] HCA 28; 258 CLR 525, which involves the next stage of the class action in *Andrews v Australia and New Zealand Banking Group Ltd* [2012] HCA 30; (2012) 247 CLR 205.

Paciocco v Australia and New Zealand Banking Group Limited

[28.85] *Paciocccо v Australia and New Zealand Banking Group Ltd* [2016] HCA 28; 258 CLR 525 – Appeal from Federal Court of Australia.

[FACTS: Credit card accounts held by Paciocco with the ANZ bank entitled the bank to charge a late-payment fee if Paciocco failed to make the minimum monthly payment stated on the monthly statement of account by the due date shown on the statement. Until December 2009, the fee was fixed at $35. From December 2009, it was reduced to $20. In representative proceedings in the Federal Court of Australia, Paciocco argued that the late-payment fees were unenforceable as

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penalties. Paciocco brought expert evidence that the amounts necessary to restore the bank to the position it would have been in had Paciocco not failed to make the minimum monthly payment by the due date were on average $2.60. This amount consisted of the variable or incremental operational costs incurred by the bank in ensuring that the late-payments were made. The bank brought expert evidence that the maximum amount of costs that it could conceivably have incurred as a result of late-payments exceeded the late-payment fee, as they included increases in loss provisions and in the costs of holding regulatory capital, together with operational costs attributable to collection activities.]

KIEFEL J:

Relevant aspects of Dunlop

[546] [26] The aspect of *Dunlop* which assumes particular importance in this case is the recognition that a sum stipulated for payment on default may be intended to protect an interest that is different from, and greater than, an interest in compensation for loss caused directly by the breach of contract. This is most evident from the speech of Lord Atkinson. It has already been observed that equity recognised that there may be injury to interests for which compensation cannot be made and to which the doctrine of penalties cannot be applied to provide relief. That will usually be because of the nature of the interest protected by the provision for payment on default.

[27] In *Ringrow Pty Ltd v BP Australia Pty Ltd*, it was said ((2005) 224 CLR 656, 663 [12]) that *Dunlop* continues to express the law to be applied with respect to penalties in Australia. As the primary judge in these proceedings observed (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 258 [17]), the principles in *Dunlop* were not affected by the decision of this Court in *Andrews*. But this does not mean that those principles are confined, or that they are limited, to the "tests" propounded by Lord Dunedin, or that what was said in *Dunlop* does not require further explication.

…

[547] [29] The fact that the decision in *Dunlop* itself, and Lord Atkinson's reasons with respect to it, assume importance in this case does not deny the significance of the requirement stated by Lord Dunedin (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at 87), that the sum stipulated be "extravagant and unconscionable" before it can be characterised as a penalty. As explained below, it is these words that, by their extreme nature, identify the penal character of a penalty. The question which may be identified as arising from this aspect of the decision in *Dunlop*, which is appropriate to a case of this kind, is whether a provision for the payment of a sum of money on default is out of all proportion to the interests of the party which it is the purpose of the provision to protect. This interest may be of a business or financial nature.

The Dunlop "tests"

[30] The distinction drawn by Lord Dunedin between liquidated damages and a penalty, whilst useful, should not be understood as a limiting rule. It does not mean that if no pre-estimate is made at the time a contract is entered into, as is the case here, a sum stipulated will be a penalty. Nor does it mean that a sum reflecting, or attempting to reflect, other kinds of loss or damage to a party's interests beyond those directly caused by the breach will be a penalty. Indeed the provision in *Dunlop*, which was held not to be a penalty, was of this kind.

[31] The question whether a sum to be paid on default is a penalty, as distinct from liquidated damages, was said by Lord Dunedin (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at 86-87) to be a question of construction, but his Lordship is not to be taken to suggest that it will be answered by the language of the contract alone. This is evident from the reference to the "inherent circumstances" of the contract, which includes the position of the party whose interests are to be protected by the stipulation for the payment of the sum on default.

[32] Lord Dunedin offered (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at 87-88) four "tests" to assist "this task of construction". They [548] were couched in the language of their time and were intended as guidance only. Tests tend, over time, to encourage

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literal application. Especially is this so where the basal purpose of the larger principle, or policy, of the law is not stated. That policy has not changed over time. It is that a sum may not be stipulated for payment on default if it is stipulated as a threat over the person obliged to perform; it may not be stipulated where the purpose and effect of requiring payment is to punish the defaulting party. This latter prohibition has found expression in modern times, as is evident from the passage from *Legione v Hateley* referred to above (*Legione v Hateley* (1983) 152 CLR 406 at 445) and also from judgments in *Cavendish* (*Cavendish Square Holding BV v Makdessi* [2015] 3 WLR 1373 at 1392 [32]; [2016] 2 All ER 519 at 538 per Lord Neuberger and Lord Sumption; at 1434 [148]; 577-578 per Lord Mance; at 1462 [243]; 605 per Lord Hodge). It may be inferred from this policy that a sum stipulated for payment on default is a penalty if it bears no relation to the possible damage to or interest of the innocent party.

[33] The first, and principal, "test" stated by Lord Dunedin (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at 87 (4(a)) is that a sum stipulated will be a penalty if it is:

> extravagant and unconscionable in amount in comparison with the greatest loss that could conceivably be proved to have followed from the breach.

If the "test" is understood to convey that only loss in the nature of damages directly flowing from the breach is to be considered, then it is unduly restrictive, though no doubt it remains useful to many cases.

[34] The terms "extravagant" and "unconscionable" (and also "exorbitant") had been used in *Clydebank Engineering & Shipbuilding Co Ltd v Castaneda*, where the Earl of Halsbury LC said (*Clydebank Engineering & Shipbuilding Co Ltd v Castaneda* [1905] AC 6 at 10) that the jurisdiction given to the court to interfere in an agreement between parties was with respect to an agreement which was "unconscionable and extravagant, and one which no Court ought to allow to be enforced". Even earlier, the Scottish Court of Session in *Forrest v Henderson, Coulborn & Co* had said (*Forrest v Henderson, Coulborn & Co* (1869) 8 Mac 187 at 193; see also at 201) that "equity will interfere to prevent the claim being maintained to an exorbitant and unconscionable amount". As explained below, "extravagant", "exorbitant" and "unconscionable" are "strong words" (*Cavendish Square Holding BV v Makdess*i [2015] 3 WLR 1373 at 1473-1474 [293]; [2016] 2 All ER 519 at 615); despite the different expressions used, they all describe the plainly excessive nature of the stipulation in comparison with the interest sought to be protected by that stipulation.

[549] [35] The second "test" (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at (4(b)).) was said to be merely a corollary of the first, and concerns the case where the breach is constituted by a mere failure to pay a sum of money. The sum stipulated to be paid in the event of a breach will be a penalty if it is greater than the sum which ought to be paid. This reflects equity's concerns about penal bonds and its view that the tender of principal together with interest thereon is sufficient compensation. This "test" has a narrow range of operation and is confined to the simplest of cases. It does not take into account that damages for breach may now include interest by way of damages and opportunity costs (*Hungerfords v Walker* (1989) 171 CLR 125). It says nothing about the damage to a party's wider commercial interests, for example to its trading, which was the real issue in *Dunlop*. And it says nothing about the financial effects for which the ANZ contends.

[36] The third "test" (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at 87 (4(c)) is stated as a presumption ("(but no more)") that a sum will be a penalty where it is a single sum made payable on the occurrence of one or more of several events, some of which may occasion serious, and others only inconsequential, damage. The presumption derives from what was said by Lord Watson in *Lord Elphinstone v Monkland Iron & Coal Co Ltd* ((1886) 11 App Cas 332 at 342):

> When a single [lump] sum is made payable by way of compensation, on the occurrence of one or more or all of several events, some of which may occasion serious and others but trifling damage, the presumption is that the parties intended the sum to be penal, and subject to modification.

[37] However, the provision for payment in that case was not in fact of that kind. It was referable to a single obligation and the sum to be paid bore "a strict proportion to the extent to which that

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obligation is left unfulfilled" (*Lord Elphinstone v Monkland Iron & Coal Co Ltd* (1886) 11 App Cas 332 at 345 per Lord Herschell LC; see also at 342-343 per Lord Watson). In *Ringrow*, this Court said (*Ringrow Pty Ltd v BP Australia Pty Ltd* (2005) 224 CLR 656 at 668 [28]) that this reasoning "did not require there to be a strict proportion; it merely relied, as a step towards the conclusion that the compensation was not inordinate or extravagant, on the fact that the compensation bore a strict proportion to the unfulfilled obligation".

[38] Further, because a provision of the kind mentioned is merely a presumption, it may be rebutted. In *Dunlop*, Lord Atkinson [550] observed (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at 95-96) that it was there rebutted by the fact that the damage caused by default may be of such an uncertain nature that it cannot be accurately ascertained.

[39] The last "test" (*Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79 at 87-88 (4(d))) stated by Lord Dunedin in *Dunlop* refers to just such a circumstance. It identifies the case where the parties agree a figure although a forecast of loss, in reality, is almost impossible. Nevertheless, the sum agreed may not be a penalty, indeed it is likely that in circumstances such as these it is not. His Lordship said:

> It is no obstacle to the sum stipulated being a genuine pre-estimate of damage, that the consequences of the breach are such as to make precise pre-estimation almost an impossibility. On the contrary, that is just the situation when it is probable that pre-estimated damage was the true bargain between the parties.

A similar observation had been made in *Clydebank* (*Clydebank Engineering & Shipbuilding Co Ltd v Castaneda* [1905] AC 6 at 11).

[40] What Lord Dunedin was pointing to is damage of a kind which is different from that for which liquidated damages could be assessed. It will be different because the interests of the party which are intended to be protected by the provision in question extend beyond an interest in the recovery of compensation for loss caused by the obligation. This was the situation in *Dunlop*.

…

A sum out of all proportion to the interests protected

…

553 [54] In *Ringrow*, it was held (*Ringrow Pty Ltd v BP Australia Pty Ltd* (2005) 224 CLR 656 at 669 [31]-[32]) that a sum which was merely disproportionate to the loss suffered would not qualify as penal. It was explained that exceptions from freedom of contract "require good reason to attract judicial intervention to set aside the bargains upon which parties of full capacity have agreed", which is why the law on penalties is expressed as an exceptional rule and in exceptional language. The Court went on:

> It explains why the propounded penalty must be judged 'extravagant and unconscionable in amount'. It is not enough that it should be lacking in proportion. It must be 'out of all proportion'.

554 In *Cavendish*, Lord Neuberger and Lord Sumption said (148) that the true test is whether the provision is a secondary obligation which imposes a detriment on the party in breach "out of all proportion to any legitimate interest of the innocent party in the enforcement of the primary obligation".

[55] Australian and United Kingdom law are not alone in maintaining a standard to be applied to a requirement to pay money, or some other detriment, which is imposed in the event of default. In many other western legal systems something like the penalty doctrine exists. In *Andrews*, reference was made (149) to s 343 of the German Civil Code, which provides that a "disproportionately high" penalty may be reduced by a court after taking into account "every legitimate interest" of the party for whose benefit the stipulated sum is made. Such interests are not limited to that party's economic

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interests. In *Cavendish*, Lord Hodge referred (150) to provisions in other modern civil codes and international instruments which use tests such as whether the sum stipulated is "manifestly excessive" or "substantially disproportionate" in order to modify or restrict contractual penalties.

…

The Late Payment Fee: a penalty?

[57] The ANZ's interests in this case are not as diffuse as those considered in *Dunlop*, *Clydebank* and *Cavendish*. The ANZ did not suggest that the injury to its interests was not capable of some kind of estimation in money's worth. In the hearing before the primary judge it abandoned the claim, made in its defence, that the costs occasioned to it by late payments were impossible to calculate and argued instead that they were very difficult to calculate. On this appeal the appellants accepted that, being realistic, the law should allow a "measure of latitude" where pre-estimation of loss is difficult. Certainly there needs to be some recognition of the difficulties attending any such exercise and that there may, in some cases, be differences in approach to the proper methodology to be employed. But it also needs to be borne in mind that this task is not one which calls for precision. The conclusion to be reached, after all, is whether the sum is "out of all proportion" to the interests said to be damaged in the event of default.

[58] It is important at this point to identify the ANZ's interests. The ANZ had an interest in receiving timeous repayment of the credit that it extended to its customers, including the appellants. As explained below, late payment impacted the ANZ's interests in three relevant respects: through operational costs, loss provisioning and increases in regulatory capital costs.

…

[60] As to the first category of costs, as the primary judge explained (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 284 [144]-[145]), the ANZ is required to estimate the impairments to its financial assets in order that its financial statements reflect a fair value of what is likely to be collected from what is outstanding. It is required to make provision in its accounts for what it may not recover, albeit that the potential loss is expressed as a current cost.

…

556 [63] As to the second category of costs, the ANZ is also required to hold regulatory capital to cover unexpected losses, a buffer of a kind. An increase in the risk of default increases the amount of regulatory capital which is required to be held.

[64] The primary judge accepted (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 286 [154]) that regulatory capital has a cost to the ANZ, by way of the loss of additional return it could otherwise make on the amount held as regulatory capital. But her Honour did not accept (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 287 [155]) that it should be taken into account in calculating loss or damage as a result of late payment.

[65] It was her Honour's view (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 287 [155]) that loss provisions and regulatory capital costs are part of the costs of running a bank in Australia. Banks may, and do, seek damages for default, but they are limited to the sums outstanding, enforcement costs and interest. However, as has been explained, the question is not what the ANZ could recover in an action for breach of contract, but rather whether the costs to it and the effects upon its financial interests by default may be taken into account in assessing whether the Late Payment Fees are penalties.

…

557 [67] The primary judge accepted (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 290 [173]) that whilst the actual losses suffered by the ANZ by reason of the late payments could not be precisely determined, they were probably no more than $3 for each event of late payment (based on Mr Regan's evidence) and in any event much less than the $20 or $35 charged as a Late Payment Fee. They were therefore extravagant and unconscionable.

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[68] Mr Inglis' evidence identified the costs to which the ANZ would be subject in the event of a late payment as a range which exceeded the amounts of the Late Payment Fee (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 411). His calculations were criticised (*Paciocco v Australia & New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 289-290 [170]-[171]) as overly generous. It is not necessary to resolve any such controversy. The effect of Mr Inglis' evidence was to identify potential costs to the ANZ, from late payments, which reflect injuries to its financial position. They were real because they had to be taken into account by the ANZ. The evidence called for the appellants did not address damage of this kind. It cannot therefore be concluded that the sums of $20 and $35 were out of all proportion to the interests so identified.

Conclusion and orders

[69] It may be accepted that it is difficult to measure the loss to the ANZ as a result of a late payment. Consistently with *Clydebank*, *Dunlop*, *Ringrow and Andrews*, the relevant question in this case is whether the Late Payment Fee is out of all proportion to the ANZ's interest in receiving timeous payment of the minimum Monthly Payment. Applying this test, the appellants did not establish that the Late Payment Fee was a penalty. The appeal should be dismissed with costs.

[Kiefel held that the appeal concerning whether the Late-Payment Fee contravened certain statutory provisions should also be dismissed with costs, for the reasons given by Keane J.]

GAGELER J: [152] The unintended consequence of lucidity is sometimes rigidity. Over the century after *Dunlop*, in the course of being "applied countless times in this and other courts" (*Ringrow Pty Ltd v BP Australia Pty Ltd* (2005) 224 CLR 656 at 663 [12]; [2005] HCA 71), Lord Dunedin's explication of principle came to acquire a quasi-statutory status. Unfortunately, that status sometimes obscured its essential meaning.

[153] In *AMEV-UDC*, after noting with reference to *Clydebank* and *Dunlop* the historic concept of an amount which was agreed to be paid on breach of contract being a penalty if it is "extravagant, exorbitant or unconscionable", Mason and Wilson JJ observed ((1986) 162 CLR 170 at 190):

> This concept has been eroded by more recent decisions which, in the interests of greater certainty, have struck down provisions for the payment of an agreed sum merely because it may be greater than the amount of damages which could possibly be awarded for the breach of contract in respect of which the agreed sum is to be paid.

The more recent decisions to which their Honours referred were for the 577 most part cases decided towards the middle of the twentieth century in the context of hire purchase agreements, before the advent of modern consumer protection legislation (eg *Cooden Engineering Co Ltd v Stanford* [1953] 1 QB 86).

[154] In terms subsequently to receive the unanimous endorsement of this Court in *Ringrow* (2005) 224 CLR 656 at 669 [31], Mason and Wilson JJ continued ((1986) 162 CLR 170 at 190):

> However, there is much to be said for the view that the courts should return to the *Clydebank* and *Dunlop* concept, thereby allowing parties to a contract greater latitude in determining what their rights and liabilities will be, so that an agreed sum is only characterized as a penalty if it is out of all proportion to damage likely to be suffered as a result of breach.

…

[156] [After] quoting with approval the observation of Mason and Wilson JJ in *AMEV-UDC*, this Court said in *Ringrow* (2005) 224 CLR 656 at 669 [32]:

> Exceptions from … freedom of contract require good reason to attract judicial intervention to set aside the bargains upon which parties of full capacity have agreed. That is why the law on penalties is, and is expressed to be, an exception from the general rule. It is why it is expressed in exceptional language. It explains why the propounded penalty must be judged

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'extravagant and unconscionable in amount'. It is not enough that it should be lacking in proportion. It must be 'out of all proportion'.

Framing the inquiry

[157] In *O'Dea v Allstates Leasing System (WA) Pty Ltd* (1983) 152 CLR 359 at 383; [1983] HCA 3, Wilson J asked of the stipulation in issue in that case whether it "can be considered to be a 'genuine pre-estimate of the creditor's … probable or possible interest in the due performance of the principal obligation' " (citing *Hills*) or "whether it is a penalty inserted 'merely to secure the enjoyment of a collateral object' " (citing *Sloman v Walter*). That succinct framing of the inquiry is consistent with *Andrews* and *Dunlop*. It is also very useful.

[158] The ultimate question of whether a stipulation imposing a detriment on a contracting party in the event of non-observance of another stipulation is a penalty is reflected in the formulation Wilson J drew from *Sloman v Walter*. To ask whether a stipulation serves merely to secure the enjoyment of a collateral object is to ask whether the conclusion objectively to be drawn from the totality of the circumstances is that the only purpose of the stipulation was to punish: to impose a detriment on a contracting party in the event that a principal contractual stipulation is not observed, in order to deter non-observance of that principal stipulation. To ask that question in the context of a stipulation for the payment of money on breach of contract accords with the statement of Lord Dunedin in *Dunlop* that "[t]he essence of a penalty is a payment of money stipulated as in terrorem of the offending party".

…

[166] Framing the inquiry in terms of whether the stipulation in issue is properly characterised as having no purpose other than to punish compels a more tailored inquiry into the commercial circumstances within which the parties entered into the contract containing the stipulation than might be involved in asking, as did the Supreme Court of the United Kingdom in *Cavendish*, whether the stipulation serves a "legitimate interest" ([2015] 3 WLR 1373 at 1392 [32]; see also [2015] 3 WLR 1373 at 1435 [152]). That is not, of course, to say that the differently framed inquiries might not lead to the same result.

[Gageler J held that the late-payment fee was not a penalty. Gageler J also held that ANZ did not engage in "unconscionable conduct" within the meaning of ss 12CB and 12CC of the *Australian Securities and Investments Commission Act 2001* (Cth) and ss 8 and 8A of the *Fair Trading Act 1999* (Vic). Nor were the credit card contracts "unjust" within the meaning of s 76 of the National Credit Code in Sch 1 to the *National Consumer Credit Protection Act 2009* (Cth). The terms which entitled the bank to charge the late payment fees were also not "unfair" within the meaning of s 12BG of the *Australian Securities and Investments Commission Act 2001* (Cth) and s 32W of the *Fair Trading Act 1999* (Vic).]

Orders

[203] Both appeals should be dismissed with costs.

[204] KEANE J: [Keane J concluded that the late-payment fee was not a penalty.]

The statutory claims

[286] Three statutory regimes were invoked by the appellants:

(a) a regime which prohibited "unconscionable conduct" in connection with the supply of financial services, operated 617 concurrently by s 12CB of the *Australian Securities and Investments Commission Act 2001* (Cth) ("the ASIC Act") and s 8 of the *Fair Trading Act 1999* (Vic) ("the FTA"), until the latter was replaced by the Australian Consumer Law ("the ACL") (Section 8 of the FTA was repealed on 1 July 2012 by s 233 of the *Australian Consumer Law and Fair Trading Act 2012* (Vic). But at the relevant time, s 8 of the FTA was in terms materially similar to s 12CB of the *ASIC Act*);

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(b) a regime which regulated the provision of credit and allowed for the reopening of "unjust transactions" (the term "unjust" including "unconscionable, harsh or oppressive") under s 76 of the National Credit Code, in force pursuant to the *National Consumer Credit Protection Act* 2009 (Cth); and

(c) a regime which rendered void "unfair" contractual terms pursuant to Pt 2B of the FTA and ss 12BF and 12BG of the ASIC Act.

[287] Each of the regimes did not apply throughout the whole of the period to which the statutory claims relate, and the regimes were subject to amendment. However, nothing turns on that fact.

[288] Some general observations by way of overview of the statutory claims will aid an understanding of what follows. First, as the primary judge noted (*Paciocco v Australia and New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 311 [290]), there was no allegation of any dishonesty or abuse of market power by ANZ, or that ANZ concealed the requirements of the late payment fee from Mr Paciocco, or that he was unable to understand the effect of the contracts in that regard, or that he entered into the contracts as the result of the exercise of financial pressure placed upon him by ANZ. The primary judge also noted that Mr Paciocco was under no obligation to use the card accounts and was free to terminate them should he so choose (*Paciocco v Australia and New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 280 [122]). Importantly, the primary judge observed that (*Paciocco v Australia and New Zealand Banking Group Ltd* (2014) 309 ALR 249 at 317 [324]):

> Mr Paciocco did not contend that there was anything unusual or exceptional in the manner in which the card accounts were entered into or in their terms. On the contrary, it was common ground that similar terms were offered by ANZ's competitors. (citations omitted)

[289] Given that the appellants did not suggest that ANZ dealt with Mr Paciocco in any way less favourably than he would have been treated by any other supplier of credit card facilities, and in the absence 618 of an allegation that the market in which this state of affairs prevailed was itself brought about by unlawful conduct, or an allegation that Mr Paciocco was driven to agree to ANZ's terms by financial pressures of which the bank was aware, the appellants' statutory claims take on an air of unreality.

[290] The appellants seek to stigmatise as unconscionable or unfair or unjust an activity in the marketplace in which nothing materially distinguishes the situation and conduct of either Mr Paciocco or ANZ from any of the other participants in that activity. It may be said that ANZ and its competitors have dealt "unconscionably" or "unfairly" or "unjustly" with all of their customers in that, in a careless or partisan use of language, all banks may be said to do so as a matter of course. But to argue that conduct by one participant in a market, which is an unremarkable example of conduct engaged in by all participants in that market, is unconscionable, or unjust or unfair, in breach of the statutory norms, without any suggestion that the market itself is unlawfully skewed, is something of a stretch. And the argument falls distinctly short of the mark in this particular case, given that there was no suggestion that Mr Paciocco was driven to seek the card accounts as a result of "pressure put upon [him] by [his] poverty" (*O'Rorke v Bolingbroke* (1877) 2 App Cas 814 at 822; *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 474), or that Mr Paciocco incurred the late payment fees as a result of financial difficulties which prevented him from making timely payment in accordance with his contractual obligations. As has been seen, Mr Paciocco chose to pay late, and thereby incur the late payment fee, as a matter of his own convenience.

[291] In these circumstances, it would have been surprising if either Court below had held that ANZ took advantage of Mr Paciocco in a way which would meet the statutory descriptions of "unconscionable conduct", "unjust transactions" or "unfair terms".

…

Conclusion

[305] Both appeals should be dismissed with costs.

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[FRENCH CJ agreed with Kiefel J on the penalty claim and with Keane J on the statutory claims. In response to the views expressed in *Cavendish Square Holding BV v Makdessi* [2016] 2 All ER 519, 541 by Lord Neuberger of Abbotsbury PSC and Lord Sumption JSC (with whom Lord Carnwath JSC agreed), that the scope of the law as stated in *Andrews* was "a radical departure from the previous understanding of the law", French CJ stated:

> [7] In any event, emphatic disagreement between our jurisdictions in relation to the common law and equitable doctrines, while infrequent, is not novel. The countries of the common law world have a shared heritage which they owe to the unwritten law of the United Kingdom. That shared heritage offers the undoubted advantage, but does not import the necessity, of development proceeding on similar lines.

NETTLE J dissented in holding the fee was a penalty and did not decide the statutory claims.]

Appeals dismissed.

WHAT ARE THE CONSEQUENCES OF A STIPULATION BEING A PENALTY?

[28.90] The consequence of a term providing for a sum payable in event of breach being a penalty, as opposed to an agreed damages clause, is that it is void. The party relying on the term must instead seek common law damages as compensation for any losses arising from the breach. In equity the consequence of a term providing for the payment of money on the failure of a condition is that the term is voidable, that is liable to be set aide at the discretion of the party affected by it, to the extent of the invalidity. The relationship between these different consequences is still to be worked out in Australian law. See further Carter, Courtney and Tolhurst, "Assessment of Contractual Penalties: Dunlop Deflated" (2017) 34 *Journal of Contract Law* 4; Eldridge, "The New Law of Penalties: Mapping the Terrain" [2018] JBL 637; Tiverios, "A Restatement of Relief against Contractual Penalties (I): Underlying Principles in Equity and at Common Law" (2017) 11 *Journal of Equity* 1 and "A Restatement of Relief against Contractual Penalties (II): A Framework for Applying the Australian and English Approaches" (2017) 11 *Journal of Equity* 185.

CHAPTER ***29***

Actions for debt

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DEBTS AND LIQUIDATED SUMS

[29.05] In *Young v Queensland Trustees Ltd* (1956) 99 CLR 560, 569, the High Court, explained the nature of the action for debt as follows:

> A debt recoverable under an indebitatus count was not and is not now conceived of simply as a cause of action for breach of duty or obligation. In other words it is a mistake to regard the liability to pay a debt of a kind formerly recoverable in debt or indebitatus as no more than the result of a breach of contract, a breach which the creditor must affirmatively allege and prove.

The idea that a debt or, more generally, a liquidated sum, is something separate and distinct, and more tangible than a mere action for damages, is one that is deeply rooted in English law. There is perhaps no a priori reason why this distinction should have developed, and the reason is probably to be found in the history of the development of the specific enforcement of money claims. See further see Lücke, "Specific Performance at Common Law" (1965) 2 *University of Tasmania Law Review* 125.

REQUIREMENTS OF AN ACTION FOR DEBT

[29.10] Generally, an action for a debt will only arise upon an "executed consideration", which in this context means performance of the contract by the party claiming payment (the *plaintiff*), for example, the price of goods sold and delivered. However, in some cases a sum may be recovered as a debt or liquidated sum where payable on a fixed day, regardless of whether the consideration has been executed, for example a payment of an instalment of a purchase price. See further *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457 at [29.85]. What amounts to sufficient performance of a plaintiff's contractual obligations to entitle the

plaintiff to claim payment of a debt depends on a distinction between entire and divisible obligations, and on the doctrine of substantial performance.

Entire obligations

[29.15] An entire obligation is one that must be wholly performed for a plaintiff to be entitled to recover any of the payment for that performance specified in the contract. Thus, it is sometimes said that the plaintiff's complete performance is a condition precedent to the defendant's obligation to pay.

Divisible obligations

[29.20] A contract is likely to be divisible where the work to be done, and the payments for that work, are divided by the contract into corresponding segments. Where a contract is divisible, the plaintiff will be entitled to payment for each segment or part of the work that has been fully performed. This type of arrangement is illustrated in *Steele v Tardiani* (1946) 72 CLR 386. *Steele v Tardiani* also discusses the situations where, even though the relevant part of a contract was not substantially performed, payment for the work done might be claimed on the basis of quantum meruit. On such claims, see further Chapter 10.

Steele v Tardiani

[29.25] *Steele v Tardiani* (1946) 72 CLR 386 (High Court of Australia) – Appeal from the Full Court of the Supreme Court of Queensland.

[FACTS: The *plaintiffs*, Mario Tardiani, Marina Pola and Alfio de Mauro, were three Italian internees, who, by an order made pursuant to the provisions of the National *Security (Aliens Control) Regulations*, had been released from internment and permitted to accept employment from the *defendant* Edward Beevor Steele. The plaintiffs were not employed to cut any specified amount but rather were to be paid at a price per ton, and all parties were entitled to terminate the contract at any time. The trial judge found that the contract was to cut firewood into lengths each six feet long and 6 inches in diameter, that payment was to be made at the rate of 8s per ton, and that the plaintiffs had cut 1,500 tons split into lengths varying from 6 to 15 inches in diameter. He held that the defendant was liable under the contract to accept and pay for the firewood cut into proper dimensions, and that he was also liable to pay a fair price for the other firewood because he had in fact accepted the benefit of the plaintiffs' work in taking possession of the firewood and selling it. He awarded the plaintiffs £367 17s 10d making allowance for the cost of splitting some of the wood to six inches in diameter.

The Full Court held that the contract was for firewood to be cut to varying lengths and diameters and awarded the plaintiffs £400. The defendant appealed to the High Court.]

DIXON J: [401] Taking, therefore, the defendant's contract to have been to pay so much per ton for firewood cut to a length of about six feet and to a width or diameter of about six inches, it is clear that, for the greater part of the wood they cut, the plaintiffs failed to split the wood to the required width. Upon what basis then can they recover remuneration in respect of work incompletely performed? It is true that they were not employed to do a single piece of work under one entire contract so that, until the whole had been substantially performed, they would obtain no right to any payment. In that sense, it is not like the contract to build two houses for a single lump sum made by the unsuccessful plaintiff in *Sumpter v Hedges* [1898] 1 QB 673. The contract … in the present case is infinitely divisible. For I assume that the amount per ton fixed … eight shillings, is but a rate of remuneration to be applied to the actual firewood cut according to the requirements of the contract, even to hundredweights and quarters …. Moreover, it would seem that the plaintiffs were employed under a contract of service and one continuing until terminated by either side. But it can hardly be denied that the consideration which the employees were to give for the remuneration is

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firewood cut according to contract and, so to speak, only those billets or sticks can be counted which qualify by substantial or reasonable compliance with the specifications. In this sense the terms of remuneration are "entire", or, in other words, each divisible application of the contract is entire and is only satisfied by performance, not partial, but substantially complete. For such a case falls within the general proposition stated in *E V Williams' Notes to Saunders* (6th ed 1845), vol 1: *Pordage v Cole* (1669) 1 Wms Saund 319l at 320d and e; 85 ER 449:

> Where the consideration for the payment of money is entire and indivisible, as where the benefit expected by the defendant under the agreement is to result from the enjoyment of every part of the consideration jointly, so that the money payable is neither apportioned by the contract, nor capable of being apportioned by a jury, no action is maintainable, if any part of the consideration has failed; for, being entire, by failing partially, it fails altogether.

[402] It is impossible, therefore, for the plaintiffs in respect of timber not split to about six inches in width to recover upon the special contract while it remains thus open and unperformed; unless, that is, there are grounds in the facts of the case for treating them as dispensed from the necessity of splitting the wood to such a width as a condition of payment. To recover under a quantum meruit for wood split to substantially different widths from that required, the plaintiffs must show circumstances removing their right to remuneration from the exact conditions of the special contract. For, if no more appears, the fact of such a contract, open and, to that extent, unperformed, excludes any implied obligation on the part of the defendant to pay a fair and reasonable remuneration for the work done by the plaintiffs in cutting his timber to dimensions outside those allowed by the contract. It is not enough that the work has been beneficial to him by turning his standing timber into the more valuable form of firewood.

> It is a commonplace of the law that there can be no implied contract as to matters covered by an express contract until the express contract is displaced …. But where work is done outside the contract, and the benefit of the work is taken, a contract may be implied to pay for the work so done at the current rate of remuneration, and the terms of the express contract may remain binding in so far as they are not inconsistent with the implied contract: per Scrutton LJ, *Steven v Bromley & Son* [1919] 2 KB 722 at 727.

But, "taking the benefit of the work" means that the defendant has done so in the exercise of some choice that was actually open to him. As it is put in a recent treatise, "[a]n implicit promise to pay connotes a benefit received by the promisor, but the receipt of the benefit is not in itself enough to raise the implication. No promise can be inferred unless it is open to the beneficiary either to accept or to reject the benefit of the work": Cheshire and Fifoot, *Law of Contract* (1st ed, 1945), pp 352, 353. The chief example of work of which the advantage must be received and in that sense accepted by the person for whom it is done, is that of the erection or repair of a building upon the land of the person benefiting, but not erected or repaired according to the conditions of the contract. Of such a case Lord Campbell CJ speaks as follows in *Munro v Butt* (1858) 8 El & Bl 738 at 752–3; 120 ER 275 at 280:

> Now, admitting that in the case of an independent chattel, a piece of furniture for example, to be made under a special contract, and some term, which in itself amounted to a condition precedent, being unperformed, if the party for whom it was to be made had yet [403] accepted it, an action might, upon obvious grounds, be maintained, either on the special contract with a dispensation of the conditions alleged, or an implied contract to pay for it according to its value; it does not seem to us that there are any grounds from which the same conclusion can possibly follow in respect of a building to be erected, or repairs done, or alterations made, to a building on a man's own land, from the mere fact of his taking possession.

It is to be noted that Lord Campbell referred to recovery in the case he contemplates on the special contract on the ground of dispensation with exact performance and to recovery upon a quantum

Steele v Tardiani cont.

meruit on a new contract implied or imputed. To these two positions he again referred, after describing the dilemma in which a building owner is placed by [an] incomplete execution of the contract. The Lord Chief Justice said at 753, 754; 280:

> How then does mere possession raise any inference of a waiver of the conditions precedent of the special contract, or of the entering into a new one? If indeed the defendant had done any thing, coupled with the taking possession, which had prevented the performance of the special contract, as if he had forbidden the surveyor from entering to inspect the work, or if, the failure in complete performance being very slight, the defendant had used any language, or done any act, from which acquiescence on his part might have been reasonably inferred, the case would have been very different.

No doubt the instances given by Lord Campbell, such things as conduct betokening actual acquiescence and acts calculated to prevent completion, were in the mind of Collins LJ in *Sumpter v Hedges* [1898] 1 QB 673 at 676 when he said:

> Where, as in the case of work done on land, the circumstances are such as to give the defendant no option whether he will take the benefit of the work or not, then one must look to other facts than the mere taking the benefit of the work in order to ground the inference of a new contract …. The mere fact that a defendant is in possession of what he cannot help keeping, or even has done work upon it, afford no grounds for such an inference.

It is upon these principles that the defendant relies in support of his appeal against the decision by which he has been held liable to the plaintiffs for the value of the work done by them in cutting firewood to the quantity estimated, nearly all of it being in excess of the contract width or diameter. The defendant says that his trees were cut upon his land and the firewood left lying there was his. What was he to do? By what step could he actively "reject" the [404] advantage which the transmutation of his standing trees into firewood necessarily gave him, however unsuitable to his purpose might be the actual lengths and widths? Was he to allow the wood to rot on the ground? What practical choice had he except to make it clear to the plaintiffs that, to obtain payment, they must split the wood to the contract width, and, when they refused or failed to do so, to employ other labour for the purpose of reducing its width or "diameter" so far as otherwise he was unable to dispose of the firewood. Why should he be precluded from selling his wood in the shape the plaintiffs wrongfully left it? It was his wood and why should his dealing with it imply a new contract with the plaintiffs?

If it were true that he made it clear to the plaintiffs before they departed that they must complete their contract by splitting the wood to the specified width, these considerations would indeed place him in a strong position. If his evidence were accepted, the plaintiffs would occupy the situation of a party who abandons a special contract to perform work on the property of another before completing the work and leaves that other party no effective choice in accepting or rejecting the benefit. But the defendant's evidence was not accepted by the judge at the trial, who, on the contrary, held that, as the timber cut, whether over six feet or not in length and whether over six inches or not in width, was sold by the defendant, he must pay a reasonable sum for that which he took and sold, even though it did not strictly comply with the terms of the original contract. What detailed facts the learned judge found on which to base this conclusion there is no express statement to show. But the rejection of the defendant's testimony generally is involved in other findings and I think that we must take it that the defendant did not base his refusal or failure to pay the plaintiffs on their failure to split the wood to the specified width, or, at all events, did not express to the plaintiffs his insistence or desire that they should so cut it.

On the other hand, there is evidence, which his Honour may have accepted, and which the learned judges of the Full Court certainly treated as representing fact, which would authorise a conclusion adverse to the defendant. Upon the evidence it would be open to conclude that the defendant considered that the plaintiffs were bound by the restrictions imposed upon them to go on working for him and that it was for this reason that he did not pay them regularly, that he allowed them to continue

Steele v Tardiani cont.

cutting timber and splitting it to a [405] width of more than six inches and raised no objection, that notwithstanding this disconformity with the direction or stipulation he had originally given or made, he afterwards promised to pay for the wood cut if and when it was delivered to a buyer or buyers, that he suffered them to leave his employment without informing them that they must split the firewood again in order to reduce its diameter, if they were to be paid, he then having reason to suppose that they did not consider that he was insisting on this requirement and, indeed, that his reliance upon diameter or width was an afterthought. In such circumstances, it would be proper to treat the failure in complete performance as possessing little importance to the defendant and as acquiesced in by him, with the consequence that the subsequent sale of the firewood might rightly be regarded by the learned judge as a taking of the benefit of the work and so, as involving either a dispensation from precise performance or an implication at law of a new obligation to pay the value of the work done.

The actual finding made by the judge at the trial is general, but as it is consistent with his Honour's having proceeded on the foregoing views of the facts, which are open on the evidence, I do not think the defendant should succeed in his attack upon the conclusion that he is bound to pay a fair and reasonable rate of remuneration in respect of the timber actually cut, even though much of it exceeded the stipulated width ….

[29.30] LATHAM CJ: [393] The appellant pressed upon the court the rule established in *Cutter v Powell* (1795) 6 TR 320; 101 ER 573, (and see *Sumpter v Hedges*), that if work is done under a special contract no payment can be recovered under the contract until the work is completed. The application of this principal to the present case means that under the contract found to [394] have been made between the parties the plaintiffs cannot recover any payment for any firewood not cut in accordance with the terms of the contract, that is, split to a diameter of six inches. In order to recover any payment in respect of such firewood the plaintiffs must claim upon a quantum meruit and such a claim cannot be allowed unless there is evidence of a fresh contract to pay for that firewood. It is strongly (and rightly) argued that the plaintiffs could not put the defendant in the position of having to pay for firewood not in accordance with the contract merely because he used or sold that firewood. Such use or sale is not in itself evidence of a new contract. The plaintiffs could not impose a new contract upon the defendant upon the basis that, unless he left the firewood to decay upon the ground, he became bound to pay them as if he had employed them on other than the contractual terms. But there is, I think, sufficient evidence to support an inference of a new contract in the present case. The relevant facts have been carefully analysed by my brother Dixon in his reasons for judgment and I agree with the conclusion upon this matter which he has reached. The learned trial judge calculated the value of the work by making an estimate of the quantity of firewood which was in accordance with the contract and of the quantity which was not in accordance with the contract and made a deduction from the contract price in respect of the whole quantity by making an estimate of the work which would be necessary to make all the firewood accord with the contract. Such an estimate could not be precise, but there was evidence to support the finding made and the judgment on this part of the case should, in my opinion, be allowed to stand ….

[MCTIERNAN J agreed with Dixon J.]

Order of Supreme Court varied by discharging so much thereof as ordered that the judgment of EA Douglas J be varied. Appeal otherwise dismissed.

Legislation

[29.35] The right to payment for work rendered under a contract that has not been fully performed may, in some cases, be affected by legislation. The application of apportionment legislation is illustrated by *Nemeth v Bayswater Road Pty Ltd* [1988] 2 Qd R 406.

Nemeth v Bayswater Road

[29.40] *Nemeth v Bayswater Road Pty Ltd* [1988] 2 Qd R 406 (Full Court of the Supreme Court of Queensland) – Appeal from District Court.

[FACTS: Under an agreement for the hire of an aircraft to take effect from 1 February 1986, the *appellants* agreed to pay $2,200 per calendar month payable at the end of each month. On 16 February, the aircraft crashed, and the contract was thereby frustrated.]

McPHERSON J: [418] Under the contract … it is clear that the monthly sum of $2 200 was payable at the end of each month. At common law interest on money lent accrued due from day to day; but, generally speaking and subject to that exception, payments due at specified dates did not accrue due unless and until the relevant date for payment arrived. This meant that, in the case of a lease determined between two rent days, no rent, or any amount on account of rent, was payable in respect of occupation for the incomplete period before termination … In England the matter attracted legislative attention during the 19th century, culminating in the *Apportionment Act 1870*, the provisions of which were adopted in Queensland by ss 231 and 232 of the *Property Law Act 1986*. So far as relevant, those provisions are as follows:

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(1) All rents, annuities, dividends, and other periodical payments in the nature of income whether reserved or made payable under an instrument in writing or otherwise shall, like interest on money lent, be considered as accruing from day to day, and shall be apportionable in respect of time accordingly.

(2) The apportioned part of any such rent, annuity, or other payment shall be payable or recoverable in the case of a continuing rent, annuity, or other such payment, when the entire portion of which such apportioned part forms part becomes due and payable, and not before; and in the case of a rent annuity or other such payment determined by re-entry, death, or otherwise, when the next entire portion of the same would have been payable if the same had not so determined, and not before.

The monthly utilisation payments under the … contract in the present case cannot be regarded as "rent" in the proper sense of that term or as defined in s 231 of the Act. On the other hand, I do not think it can be doubted that they amount to "other periodical payments in the nature of income … whether … made payable under an instrument in writing or otherwise …". Under s 232(2) the apportioned part is not payable or recoverable until the entire portion becomes due and payable; but that would have happened here at the last moment of 28 February 1986, which was well past when the action was instituted. The monthly payment due … therefore seems to me to be apportionable and therefore due in respect of the incomplete period running from 1 February to 16 February 1986. I reach this conclusion with some hesitation because the applicability of s 232 was not the subject of submissions before us, and I notice that in *Re Lucas* (1885) 55 LJ Ch 101 at 103, Bowen LJ expressed a doubt whether the Act of 1870 "made rent due from day to day in every sense".

On the other hand, Woodfall, *Landlord and Tenant* (28th ed), para 1-0772, p 308, does not question [419] that the Act allows recovery of rent pro rata where the tenancy is determined in the middle of the period, and there is a considered decision of Manisty J, reported only in Cababe's and Ellis's Reports to the effect that the *Apportionment Act* applies to rent in respect of an incomplete period like this: see *Hartcup & Co v Bell* (1883) Cab & El 19. The effect of the *Apportionment Act* was summed up by Fry J in *Re South Kensington Co-operative Stores* (1881) 17 Ch D 161 at 165, who said:

> It declared that rents should be apportionable like interest on money lent. Now, how did the law stand before this Act was passed? Plainly in this way, that rent neither accrued due, nor was payable except on the day on which it was reserved; whereas interest or money lent accrued due de die in diem, although it might be payable at certain specified days. The effect of the section is to declare that rent, like interest, accrues due from day to day, and that the payments or rent, like the payments of interest, when they are periodical, shall be apportioned in respect of the time at which the rent, like the interest, accrued due.

Nemeth v Bayswater Road cont.

See also *Moriarty v Regent's Garage and Engineering Co Ltd* [1921] 1 KB 423, which was a case of apportionment of salary. In the result I am persuaded that s 232 does apply to the monthly utilisation fee of $2 200 in this case, and in consequence that the plaintiff was on that account properly awarded the amount of $1 257.14 calculated for the fractional period from 1 to 16 February, 1986 on the basis of 16/28 of the whole monthly sum …

[CONNOLLY and WILLIAMS JJ did not discuss this aspect of the case but were prepared to accept McPherson J's views.]

[29.45] **Note**

For similar legislation in other States and the Territories, see *Civil Law (Property) Act 2006* (ACT), s 250; *Conveyancing Act 1919* (NSW), s 144; *Law of Property Act* (NT), s 212; *Property Law Act 1974* (Qld), s 232; *Law of Property Act 1936* (SA), s 64; *Apportionment Act 1871* (Tas), s 2; *Supreme Court Act 1986* (Vic), s 54; *Property Law Act 1969* (WA), s 131.

Substantial performance

[29.50] Where a plaintiff has substantially performed his or her obligations under the contract, the doctrine of substantial performance may allow recovery of the contract price, less a payment of damages to the other party as compensation for the incomplete work. What level of performance amounts to substantial performance was considered in *Hoenig v Isaacs* [1952] 2 All ER 176 and *Bolton v Mahdeva* [1972] 1 WLR 1009.

Hoenig v Isaacs

[29.55] *Hoenig v Isaacs* [1952] 2 All ER 176 (Court of Appeal) – Appeal from Sir Lionel Leach, Official Referee.

[FACTS: The *plaintiff* was an interior decorator and furniture designer. The *defendant*, the owner of a one-room flat, employed the plaintiff to decorate it and provide it with furniture, including bedstead and wardrobe and bookcase fitments, for a sum of £750. The plaintiff claimed to have carried out the work in compliance with the contract and requested payment of £350, being the balance of the money owing under the contract. The defendant alleged that the plaintiff had failed to perform his contract, and, alternatively, that the work was done negligently, unskilfully, and in an unworkmanlike manner. The official referee held that the door of a wardrobe required replacing, and that a bookshelf, which was too short, would have to be remade, which would require alteration being made to a bookcase. The official referee held that there had been a substantial compliance with the contract and that the defendant was liable for £750 less the cost of remedying the defects, which he assessed at £55 18s 2d, and he gave judgment for £294 1s 10d.]

SOMERVELL LJ: [177] Counsel for the defendant submits that the decision of the official referee is wrong in law. He submits that this is an entire contract which, on the findings of fact, has not been performed. On the well-known principle applied to the facts of that case in *Cutter v Powell* (1795) 6 Term Rep 320; 101 ER 573, he submitted that the plaintiff cannot, therefore, recover on his contract …

The official referee regarded the principle laid down in *H Dakin & Co Ltd v Lee* [1916] 1 KB 566, as applicable. The contract in that case was for repairs to a house. The official referee before whom the case came in the first instance found that the work as completed did not accord with the contract in

Hoenig v Isaacs cont.

certain respects. He proceeded to hold that the plaintiff could not recover any part of the contract price or any sum in respect of the contract work. This decision was reversed in the Divisional Court and their decision was affirmed by this court. In support of the official referee's decision it was argued that the plaintiff could not recover either on the contract or on a quantum meruit. No new contract on the latter basis could be implied from the fact that the defendant by continuing to live in her house had enjoyed the benefit of what had been done.

[178] In *Eshelby v Federated European Bank Ltd* [1932] 1 KB 423 at 421 Greer LJ clearly felt some difficulty about *H Dakin & Co Ltd v Lee* as possibly inconsistent with *Cutter v Powell* and the cases following that decision and deciding that where work is to be done for a sum named neither that sum nor any part of it can be recovered while the work remains undone. We were referred to a number of these cases and I have considered those authorities and others. Each case turns on the construction of the contract …

Sinclair v Bowles (1829) 9 B & C 92; 109 ER 35 is often cited as an illustration of the *Cutter v Powell* principle. The plaintiff had undertaken to repair chandeliers and make them "complete" or "perfect". This he, quite plainly on the evidence and findings of the jury, failed to do. It may, perhaps, be regarded as a case where, on the construction of the contract, having regard to the subject matter, there was no scope for terms collateral to the main purpose.

The principle that fulfilment of every term is not necessarily a condition precedent in a contract for a lump sum is usually tracked back to a short judgment of Lord Mansfield CJ in *Boone v Eyre* (1779) 1 Hy Bl 273n; 126 ER 160 – the sale of the plantation with its slaves … One is very familiar with the application of this principle in the law relating to the sale of goods. Quoad stipulations which are conditions, the *Cutter v Powell* principle is applicable. If they are not all performed the other party can repudiate, but there will not have been, as there was in *Cutter v Powell*, a partial performance. But there may be other terms, collateral to the main purpose, the breach of which in English law gives rise to a claim for damages, but not to a right to reject the goods and treat the contract as repudiated: see definition of warranty, *Sale of Goods Act 1893*, s 62(1).

In a contract to erect buildings on the defendant's land for a lump sum, the builder can recover nothing on the contract if he stops before the work is completed in the ordinary sense – in other words, abandons the contract. He is also usually in a difficulty in recovering on a quantum meruit because no new contract can be inferred from the mere fact that the defendant remains in possession of his land: *Sumpter v Hedges* [1898] 1 QB 673. In *Appleby v Myers* (1867) LR 2 CP 651, while the work was in progress the premises and the work so far done on them were destroyed by fire and the court held both parties excused. At the end [179] of his judgment Blackburn J, after referring to *Cutter v Powell*; *Sinclair v Bowles* and that line of cases, said (at 661): "the plaintiffs, having contracted to do an entire work for a specific sum, can recover nothing unless the work be done."

In *H Dakin & Co Ltd v Lee* Lord Cozens-Hardy MR, I think, had this principle in mind when he said (at 578): "The work was finished — and when I say this I do not wish to prejudice matters, but I cannot think of a better word to use at the moment."

The question here is whether in a contract for work and labour for a lump sum payable on completion the defendant can repudiate liability under the contract on the ground that the work though "finished" or "done" is in some respects not in accordance with the contract … The learned official referee regarded *H Dakin & Co Ltd v Lee* as laying down that the price must be paid subject to set-off or counterclaim if there was a substantial compliance with the contract. I think on the facts of this case where the work was finished in the ordinary sense, though in part defective, this is right. It expresses in a convenient epithet what is put from another angle in the *Sale of Goods Act* 1893. The buyer cannot reject if he proves only the breach of a term collateral to the main purpose. I have, therefore, come to the conclusion that the first point of counsel for the defendant fails.

The learned official referee found that there was substantial compliance. Bearing in mind that there is no appeal on fact, was there evidence on which he could so find? The learned official referee having, as I hold, properly directed himself, this becomes, I think, a question of fact. The case on this point

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was, I think, near the border line, and if the finding had been the other way I do not think we would have interfered. Even if I had felt we could interfere, the defendant would be in a further difficulty. The contract included a number of chattels. If the defendant wished to repudiate his liability under the contract [180] he should not, I think, have used those articles, which he could have avoided using. On this view, though it is not necessary to decide it, I think he put himself in the same position as a buyer of goods who by accepting them elects to treat a breach of condition as a breach of warranty …

[29.60] DENNING LJ: [180] This case raises the familiar question: Was entire performance a condition precedent to payment? That depends on the true construction of the contract. In this case … the essential terms were set down in the letter of 25 April 1950. It describes the work which was to be done and concludes with these words: "The foregoing, complete, for the sum of £750 net. Terms of payment are net cash, as the work proceeds; and balance on completion."

The question of law that was debated before us was whether the plaintiff was entitled in this action to sue for the £350 balance of the contract price as he had done. The defendant said that he was only entitled to sue on a quantum meruit. The defendant was anxious to insist on a quantum meruit, because he said that the contract price was unreasonably high. He wished, therefore, to reject that price altogether and simply to pay a reasonable price for all the work that was done. This would obviously mean an inquiry into the value of every item, including all the many items which were in compliance with the contract as well as the three which fell short of it. That is what the defendant wanted. The plaintiff resisted this course and refused to claim on a quantum meruit. He said that he was entitled to the balance of £350 less a deduction for the defects.

In determining this issue the first question is whether, on the true construction of the contract, entire performance was a condition precedent to payment. It was a lump sum contract, but that does not mean that entire performance was a condition precedent to payment. When a contract provides for a specific sum to be paid on completion of specified work, the courts lean against a construction of the contract which would deprive the contractor of any payment at all simply because there are some defects or omissions. The promise to complete the work is, therefore, construed as a term of the contract, but not [181] as a condition. It is not every breach of that term which absolves the employer from his promise to pay the price, but only a breach which goes to the root of the contract, such as an abandonment of the work when it is only half done. Unless the breach does go to the root of the matter, the employer cannot resist payment of the price. He must pay it and bring a cross-claim for the defects and omissions, or, alternatively, set them up in diminution of the price. The measure is the amount which the work is worth less by reason of the defects and omissions, and is usually calculated by the cost of making them good …

It is, of course, always open to the parties by express words to make entire performance a condition precedent. A familiar instance is when the contract provides for progress payments to be made as the work proceeds, but for retention money to be held until completion. Then entire performance is usually a condition precedent to payment of the retention money, but not, of course, to the progress payments. The contractor is entitled to payment pro rata as the work proceeds, less a deduction for retention money. But he is not entitled to the retention money until the work is entirely finished, without defects or omissions. In the present case the contract provided for "net cash, as the work proceeds; and balance on completion". If the balance could be regarded as retention money, then it might well be that the contractor ought to have done all the work correctly, without defects or omissions, in order to be entitled to the balance. But I do not think the balance should be regarded as retention money. Retention money is usually only ten per cent, or 15 per cent, whereas this balance was more than 50 per cent. I think this contract should be regarded as an ordinary lump sum contract. It was substantially performed. The contractor is entitled, therefore, to the contract price, less a deduction for the defects.

Even if entire performance was a condition precedent, nevertheless the result would be the same, because I think the condition was waived. It is always open to a party to waive a condition which is inserted for his benefit. What amounts to a waiver depends on the circumstances. If this was an

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entire contract, then, when the plaintiff tendered the work to the defendant as being a fulfilment of the contract, the defendant could have refused to accept it until the defects were made good, in which case he would not have been liable for the balance of the price until they were made good. But he did not refuse to accept the work. On the contrary, he entered into possession of the flat and used the furniture as his own, including the defective items. That was a clear waiver of the condition precedent. Just as in a sale of goods the buyer who accepts the goods can no longer treat a breach of condition as giving a right to reject but only a right to damages, so also in a contract for work and labour an employer who takes the benefit of the work can no longer treat entire performance as a condition precedent, but only as a term giving rise to damages. The case becomes then an ordinary lump sum contract governed by the principles laid down in *Mondel v Steel* (1841) 8 M & W 858; 151 ER 1288 and *H Dakin & Co Ltd v Lee*. The employer must, therefore, pay the contract price subject to a deduction for defects or omissions ….

[ROMER LJ agreed that the appeal be dismissed.]

Appeal dismissed.

Bolton v Mahdeva

[29.65] *Bolton v Mahdeva* [1972] 1 WLR 1009 (Court of Appeal) – Appeal from County Court.

[FACTS: The *plaintiff* agreed to install a combined heating and hot water system in the *defendant's* home for a price of £560. The defendant alleged that the work was improperly done and that the plaintiff had wholly failed to perform the contract. The trial judge held that the defendant was entitled to set off £174.50 for the defects. There were certain other amounts to be taken into account, and judgment was given to the plaintiff for £431.50. The defendant appealed.]

CAIRNS LJ: [1011] The main question in the case is whether the defects in workmanship found by the judge to be such as to cost £174 to repair – that is, between one third and one quarter of the contract price – were of such a character and amount that the plaintiff could not be said to have substantially performed his contract. That is, in my view, clearly the legal principle which has to be applied to cases of this kind.

The rule which was laid down many years ago in *Cutter v Powell* (1795) 6 Term Rep 320; 101 ER 573 in relation to lump sum contracts was that unless the contracting party had performed the whole of his contract, he was not entitled to recover anything. That strong rule must now be read in the [1012] light of certain more recent cases to which I shall briefly refer. The first of those cases is *H Dakin & Co Ltd v Lee* [1916] 1 KB 566 … [1013] Perhaps the most helpful case is the most recent one of *Hoenig v Isaacs* [1952] 2 All ER 176 … In considering whether there was substantial performance I am of opinion that it is relevant to take into account both the nature of the defects and the proportion between the cost of rectifying them and the contract price. It would be wrong to say that the contractor is only entitled to payment if the defects are so trifling as to be covered by the de minimis rule …

[1014] Now, certainly it appears to me that the nature and amount of the defects in this case were far different from those which the court had to consider in *H Dakin & Co Ltd v Lee* and *Hoenig v Isaacs*. For my part, I find it impossible to say that the judge was right in reaching the conclusion that in those circumstances the contract had been substantially performed. The contract was a contract to install a central heating system. If a central heating system when installed is such that it does not heat the house adequately and is such, further, that fumes are given out, so as to make living rooms uncomfortable, and if the putting right of those defects is not something which can be done by some slight amendment of the system, then I think that the contract is not substantially performed … Taking those matters into account and the other matters making up the total of £174, I have

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reached the conclusion that the judge was wrong in saying that this contract had been substantially completed; and, on my view of the law, it follows that the plaintiff was not entitled to recover under that contract …

BUCKLEY LJ: [1015] I agree.

[29.70] SACHS LJ: I agree that this appeal should be allowed, for the reasons given by Cairns LJ …

When, however, one looks at the aggregate of the number of defects that [the trial judge] held to have been established, at the importance of some of those defects, and at the way in which some of them prevented the installation being one that did what was intended, I find myself, like Cairns LJ, quite unable to agree that there was a substantial performance by the plaintiff of this lump sum contract. It is not merely that so very much of the work was shoddy, but it is the general ineffectiveness of it for its primary purpose that leads me to that conclusion.

So far as the law is concerned, I would merely add that it seems to me to be compactly and accurately stated in *Cheshire and Fifoot's Law of Contract* (7th ed, 1969), p 492, in the following terms: "the present rule is that so long as there is a substantial performance the contractor is entitled to the stipulated price, subject only to a cross-action or counterclaim for the omissions or defects in execution" and, to "cross-action or counterclaim", I would of course add "set-off". The converse, however, is equally correct – if there is not a substantial performance, the contractor cannot recover. It is upon the application of that converse rule that the plaintiff's case here fails. This rule does not work hardly upon a contractor if only he is prepared to remedy the defects before seeking to resort to litigation to recover the lump sum. It is entirely the fault of the contractor in this instant case that he has placed himself in a difficulty by his refusal on 4 December 1969, to remedy the defects of which complaint was being made …

Appeal allowed.

[29.75] **Note**

In *Zamperoni Decorators Pty Ltd v Lo Presti* [1983] VR 338, a painting contractor who completed work that was substandard was held to be entitled to the stipulated contract price ($1,200), but subject to reduction by the amount required to rectify the defective work ($600). Anderson J said, at 342:

> In deciding whether or not there has been substantial performance the court has considerable latitude. It is on the whole of the evidence that the court acts. It is required in the ultimate to act justly, and while in particular instances it is proper to hold that there had not been substantial performance with the consequence that the contractor fails in his claim, the court may regard defects, even though substantial but capable of remedying, as not justifying the denial of all reward to the contractor, but denying him an amount sufficient to pay for the remedying of the defects.

Payment independent of performance

[29.80] In some cases, the parties may make the payment of a particular sum of money, independent of performance of the contract. Where payment is independent of performance, the sum will be owing as a debt when the time for payment arises. The right of the plaintiff to claim or retain the sum even if performance is not subsequently rendered is discussed in *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457.

McDonald v Dennys Lascelles

[29.85] *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: The Rye Grazing Co, the *purchasers*, entered into a contract for the purchase of certain land from the *vendor* who was himself a purchaser of the land under a contract of sale. The vendor assigned to *Dennys Lascelles Ltd*, his interest under the contract with the purchasers, which, however, made default in payment of an instalment of the purchase money. In consideration of allowing the purchasers further time to pay, *McDonald*, with another, guaranteed payment of the instalment but the instalment was never paid. When it appeared to the purchasers that the vendor would be unable to complete the contract, the purchasers repudiated the contract, which repudiation was accepted by the vendor and Dennys Lascelles Ltd. Dennys Lascelles Ltd then brought an action against McDonald and his co-guarantor for the recovery of the amount of the instalment guaranteed by them.]

DIXON J: [475] It thus appears necessary to consider with some degree of exactness what are the material rights and obligations of vendor and purchaser with respect to instalments. It must be borne in mind that the instalment in dispute was overdue when the contract came to an end. According to the terms of the contract, it was originally due and payable on 24 January 1930. Was it then recoverable as a sum certain in money? Convincing reasons for an affirmative answer have been given in Victoria and in New Zealand. Sir John Salmond has stated the principles determining this conclusion:

> As a general rule, on the failure or refusal of a purchaser to complete an executory contract for the purchase of land the vendor is not entitled to sue for the purchase money as a debt. He is entitled merely to sue for specific performance or for damages for the loss of his bargain. It is only when the contract has been completed by the execution and acceptance of a conveyance that unpaid purchase money may become a debt and can be recovered accordingly. This general rule is sufficiently illustrated and established by the case of *Laird v Pim* (1841) 7 M & W 474; 151 ER 852. The sale of land is in this respect similar to the sale of goods. In the case of goods sold and delivered, and [476] of goods bargained and sold, the property in each case having passed to the buyer, the seller's remedy is to sue for the price. But if under any executory contract the buyer wrongfully refuses to accept the goods the seller's only remedy is an action for damages. The general rule, however, that in an executory contract for the sale of land the vendor cannot sue for the price is excluded whenever a contrary intention is shown by the express terms of the contract. And it seems established by authority that a contrary intention is sufficiently shown in all cases in which by the express terms of the contract the purchase money or any part thereof is made payable on a fixed day, not being the agreed day for the completion of the contract by conveyance. In all such cases the purchase money or such part thereof becomes, on the day so fixed for its payment, a debt immediately recoverable by the vendor irrespective of the question whether a conveyance has been executed and notwithstanding the fact that the purchaser may have repudiated his contract. Notwithstanding such repudiation the vendor is not bound to sue for damages or specific performance, but may recover the agreed purchase money: *Ruddenklau v Charlesworth* [1925] NZLR 161 at 164, 165.

In *Reynolds v Fury* [1921] VLR 14 at 17, the Full Court of Victoria, after a very full examination of the authorities, decided that instalments of purchase money, which, by the conditions of a contract of sale of land are payable at fixed times before conveyance, become immediately recoverable as debts or liquidated demands, notwithstanding that the sale has not yet been completed by conveyance.

From this it follows that after 24 January 1930, subject to the vendors' agreement to forbear between a date about 18 March 1930, when the conditions stipulated for their forbearance were complied with, and 24 January 1931, the instalment might have been recovered from the sub-purchasers as a liquidated demand. Did the subsequent discharge of the second contract relieve the sub-purchasers of this liability? When a party to a simple contract, upon a breach by the other

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contracting party of a condition of the contract, elects to treat the contract as no longer binding upon him, the contract is not rescinded as from the beginning. Both parties [477] are discharged from the further performance of the contract, but rights are not divested or discharged which have already been unconditionally acquired. Rights and obligations which arise from the partial execution of the contract and causes of action which have accrued from its breach alike continue unaffected. When a contract is rescinded because of matters which affect its formation, as in the case of fraud, the parties are to be rehabilitated and restored, so far as may be, to the position they occupied before the contract was made. But when a contract, which is not void or voidable at law, or liable to be set aside in equity, is dissolved at the election of one party because the other has not observed an essential condition or has committed a breach going to its root, the contract is determined so far as it is executory only and the party in default is liable for damages for its breach … It does not, however, necessarily follow from these principles that when, under an executory contract for the sale of property, the price or part of it is paid or payable in advance, the seller may both retain what he had received, or recover overdue instalments, and at the same time treat himself as relieved from the obligation of transferring the property to the buyer. When a contract stipulates for payment of part of the purchase money in advance, the purchaser relying only on the vendor's promise to give him a conveyance, the vendor is entitled to enforce payment before the time has arrived for conveying the land; yet his title to retain the money has been considered not to be absolute but conditional upon the subsequent completion of the contract. "The very idea of payment falls to the ground when both have treated the bargain as at an end; and from that moment the vendor holds the money advanced to the use of the purchaser": *Palmer v Temple* (1839) 9 Ad & E 508 at 520, 521; 112 ER 1304 at 1309.

In *Laird v Pim* (at 478; 854) Parke B says: "It is clear he cannot [478] have the land and its value too"; the case, however, was one in which conveyance and payment were contemporaneous conditions … It is now beyond question that instalments already paid may be recovered by a defaulting purchaser when the vendor elects to discharge the contract: *Mayson v Clouet* [1924] AC 980. Although the parties might by express agreement give the vendor an absolute right at law to retain the instalments in the event of the contract going off, yet in equity such a contract is considered to involve a forfeiture from which the purchaser is entitled to be relieved: see the judgment of Long Innes J in *Pitt v Curotta* (1931) 31 SR (NSW) 477 at 480–2. The view adopted in *Re Dagenham (Thames) Dock Co; Ex parte Hulse* (1873) LR 8 Ch 1022, seems to have been that relief should be granted, not against the forfeiture of the instalments, but against the forfeiture of the estate under a contract which involved the retention of the purchase money: and this may have been the ground upon which Lord Moulton proceeded in *Kilmer v British Columbia Orchard Lands Ltd* [1913] AC 319, notwithstanding the explanation of that case given in *Steedman v Drinkle* [1916] 1 AC 275, and *Brickles v Snell* [1916] 2 AC 599. However, these cases establish the purchaser's right to recover the instalments, other than the deposit, although the contract is not carried into execution. If a vendor under a contract containing an express power to forfeit instalments at first determined the contract and retained the instalments but afterwards resiled from his former election to treat the contract as discharged and insisted that, if the purchaser was unwilling to forfeit his instalments according to the tenor of the agreement, he should at least carry out the sale, perhaps the purchaser as a term of equitable relief against forfeiture would be required to carry out his contract. But, where there is no express agreement excluding the implication made at law, by which the instalments become repayable upon the discharge of the obligation to convey and the purchaser has a legal right to the return of the purchase money already paid which makes it needless to resort to equity and submit to equity as a condition of obtaining relief, the [479] vendor appears to be unable to deduct from the amount of the instalments the amount of his loss occasioned by the purchaser's abandonment of the contract. A vendor may, of course, counterclaim for damages in the action in which the purchaser seeks to recover the instalments.

In the present case, the contract of resale contains no provision for the retention or forfeiture of the instalments. If, therefore, the instalment originally due on 24 January 1930, had been paid by the purchasers to the vendors, they would, in my opinion, have been entitled to recover it from the vendors. The right so to recover it is legal and not equitable. It arises out of the nature of the

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contract itself. This would be so even if the second contract was rescinded by the vendors upon the purchasers' default. If in the present case the purchasers' claim to rescind this contract were justified, an instalment already paid would have been recoverable as on an ordinary failure of consideration. But, if the difference be material, I am disposed to think that the purchasers' claim to rescind was not, in the circumstances, well founded and that the second contract should be treated as discharged by the vendors' acceptance of the repudiation by the purchasers involved in their attempt to rescind. It appears to me inevitably to follow from the principles upon which instalments paid are recoverable that an unpaid overdue instalment ceases to be payable by the purchasers when the contract is discharged. The fact that the contract was assigned does not increase or vary the purchasers' liabilities under it, and, accordingly, I think that the purchasers upon the subsale ceased to be liable for the instalment guaranteed.

The second question remains, namely whether the cesser of the sub-purchasers' liability for the instalment of £1 000 operates to discharge the sureties …

[His Honour then considered the guarantee and held that it amounted to no more than a collateral undertaking securing the primary liability to pay the instalment. Accordingly, the guarantors' liability was also extinguished. In the course of this part of his judgment his Honour said:]

[480] In the present case, not only is the principal debtor relieved from personal liability to pay the instalments but the vendor's just title both to obtain and to retain the instalment altogether ceases. If there had been no assignment and if the instalment had been duly paid, it would have become the vendors' duty to repay it. It is, perhaps, uncertain whether, if the payment of the instalment had been duly made to the plaintiff, as assignee, the liability to repay it would have fallen upon it or upon its assignors, the vendors, because it is not clear that the obligation to repay it does not arise out of contractual implication by which the assignee would not be bound, as distinguished from an independent duty springing simply from the receipt of the money and the subsequent discharge of the contract.

[RICH, STARKE and MCTIERNAN JJ delivered judgments to a similar effect. EVATT J dissented.]

Appeal allowed.

[29.90] Note

Is it possible for an accrued right to exist in respect of a sum of money due for payment *after* termination? In *Westralian Farmers Ltd v Commonwealth Agricultural Service Engineers Ltd* (1935) 54 CLR 361 Dixon and Evatt JJ made the following statement (at 379–80):

> In general the termination of an executory agreement out of the performance of which pecuniary demands may arise imports that, just as on the one side no further acts of performance can be required, so, on the other side, no liability can be brought into existence if it depends upon a further act of performance. If the title to rights consists of vestitive facts which would result from the further execution of the contract but which have not been brought about before the agreement terminates, the rights cannot arise. But if all the facts have occurred which entitle one party to such a right as a debt, a distinct chose in action which for many purposes is conceived as possessing proprietary characteristics, the fact that the right to payment is future or is contingent upon some event, not involving further performance of the contract, does not prevent it maturing into an immediately enforceable obligation.

This approach was adopted in *Elkoury v Farrow Mortgage Services Pty Ltd* (1993) 114 ALR 541.

DEPOSITS

[29.95] A category of case in which the right to payment is considered independent of the performance of the contract concerns deposits. A deposit is a percentage of the overall purchase price payable by a purchaser on entering into a contract of sale. The deposit is paid by the purchaser in return for the vendor entering into the transaction. Generally, if the transaction goes ahead, the deposit is treated as part of the purchase price. However, if the vendor, in breach of contract, does not complete the transaction, the purchaser will generally be entitled to recover the deposit. If the transaction is not completed by reason of the default of the purchaser, the vendor will retain the deposit. A vendor's right to retain a deposit following breach by the purchaser is not conditional upon the subsequent completion of the transaction. *Bot v Ristevski* [1981] VR 120 considers what should be the result if the deposit, although due, has not actually been paid when a vendor terminates the contract because of the purchaser's breach.

Bot v Ristevski

[29.100] *Bot v Ristevski* [1981] VR 120 (Supreme Court of Victoria) – Trial of Action.

[FACTS: The *plaintiffs/vendors* sold a house and land to the *defendants/purchasers* for a price payable by a part deposit on the signing of the sale note, the balance of the deposit payable within seven days thereafter and the residue of the purchase price at a later date. After payment of this initial part deposit but before the rest of the deposit was paid, the defendants wrongfully repudiated the contract, which repudiation was accepted by the plaintiffs. The plaintiffs sued for the unpaid portion of the deposit.]

BROOKING J: [121] By the sale note, the balance of the deposit was payable within seven days of 28 January 1976. Once this seven day period has expired, the plaintiffs were entitled to sue the defendants for the unpaid balance, $1 800, as a debt. The question is whether the plaintiffs have lost this right by electing to discharge the contract in reliance upon the defendants' repudiation.

It is clear that the determination of a contract by the acceptance of a repudiation does not in general affect rights which have already been acquired by reason of the contract. The contrary view … was finally disposed of in this country … by the judgment of Sir Owen Dixon in *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR 457 at 476–7 …

The right of action for debt which arose in the present case on 5 February 1976 in consequence of the purchasers' failure to pay the balance of the deposit within seven days of the sale note will, then, not have been extinguished by the subsequent determination of the contract unless the right to recover the balance of the deposit was conditional upon the subsequent completion of the contract.

[Brooking J quoted from Dixon J's judgment in *McDonald v Dennys Lascelles Ltd*: "It does not, however … *Mayson v Clouet* [1924] AC 980" see [29.85].] [123] Where the vendor discharges a contract for breach, the contract may expressly empower him to forfeit instalments of purchase money payable in advance of conveyance or transfer, so as to make it necessary for the purchaser to invoke equitable relief against forfeiture. If the contract gives no express power of forfeiture, the purchaser may recover by action at law instalments of purchase money paid in advance of conveyance or transfer and will have a good defence at law to an action by the vendor claiming payment of instalments of purchase money which were overdue by the time when the contract was discharged. The vendor's title to retain or recover the purchase money is conditional upon the subsequent completion of the contract by conveyance or transfer: if the contract is not completed, the consideration wholly fails: *McDonald v Dennys Lascelles Ltd* …

The vendor's title to retain or recover a deposit is not conditional in this sense, and accordingly it will not be defeated or divested by the subsequent discharge of the contract: *Ettridge v Vermin Board of the District of Murat Bay* [1928] SASR 124 … True it is that a deposit wears two aspects: if the purchase

Bot v Ristevski cont.

is carried out, it goes against the purchase money, but its primary purpose is that it is a guarantee that the purchaser means business … There is no failure of consideration if the land is not conveyed or transferred, for the purchaser has had the benefit of the entry into the contract of sale by the vendor:

> Here the purchaser made an unconditional promise to pay a deposit immediately and, although if the contract was completed the moneys would according to ordinary principles be credited towards the purchase price and until then would constitute an earnest for performance, the agreement to pay was not in consideration of conveyance but was in consideration of the contract. It was the price or part of the price of the vendor's promise to sell: *Farrant v Leburn* [1970] WAR 179 at 184.

The decision of Pennycuick J [in *Lowe v Hope* [1970] Ch 94] was influenced by the notion that a vendor who determines the contract by accepting a repudiation cannot assert rights which arise under the contract and must, because [124] of the need for restitutio in integrum, return to the purchaser what he, the vendor, has received under the contract, the vendor's right to retain the deposit being viewed as an exception to the general rule. This notion arose from the failure to distinguish between rescission for some extrinsic collateral cause and the discharge of contracts for breach a failure for which the noted text writer, Cyprian Williams, must bear much of the responsibility. The erroneous conception was never allowed to take root in Australia …

In the same way it is my respectful view that McMullin J, in *Johnson v Jones* [1972] NZLR 313, while mindful of the principle laid down by Sir Owen Dixon in *McDonald v Dennys Lascelles Ltd*, failed to give effect to it in respect of the debt which had arisen for the balance of the deposit. The fact that the vendor might have insisted upon payment before rescinding, which appears to be the ground on which his Honour held the principle to be inapplicable, does not, as it seems to me, afford any reason for treating the debt as extinguished in consequence of the determination of the contract. (In the statement of the principle at [1972] NZLR 313 at 318 of the report the word "conditionally" is plainly to be read as "unconditionally".)

In *Lyon v Magnet Nominees Pty Ltd* [1978] VR 673, Harris J adopted the reasoning in *Lowe v Hope*. His Honour does briefly discuss the principle laid down by Sir Owen Dixon but does not appear to have been referred to the consideration given to the application of that principle in *Farrant v Leburn* [1970] WAR 179.

In *Lowe v Hope*, Pennycuick J, after citing a passage by Cyprian Williams, continued ([1970] Ch 98; [1969] 3 All ER 608):

> Applying those principles in relation to a deposit payable under the contract of sale but not in fact paid by the purchaser, it seems to me that the vendor having elected to bring the contract to an end by rescission is not entitled to insist on the performance of the contract in relation to the deposit. This is admittedly so, in so far as the deposit bears the character of part of the unpaid purchase price. It seems to me it must equally be so, in so far as the deposit bears the character of a pledge; for once the vendor has rescinded the contract there are no outstanding obligations of the purchaser in respect of which the vendor can be entitled to be protected by a pledge.

It would, I think, be quite contrary to principle that a vendor having rescinded a contract so that the contract is at an end should at that stage be entitled to insist that the purchaser shall hand over to him a contractual pledge with a view to its forfeiture.

I prefer to approach the problem by asking whether an unconditional right to recover and retain the deposit arose before the contract was discharged. If such a right did arise, it will survive the determination of the contract, and if the money has been paid before discharge the purchaser will not get it back, while if the money has not been paid before discharge the purchaser will be compelled to pay it. Whether the vendor obtained an unconditional right to recover [125] and retain the deposit will depend upon whether the discharge of the contract will give rise to a total failure of the consideration for payment of the deposit. If it will, then the consequence of discharge will be that

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the vendor cannot recover the deposit, if unpaid, or retain it, if paid. Either there was an unconditional right to recover and retain the deposit, or there was not. Pennycuick J thought it contrary to principle that once the vendor had determined the contract, so that there were no outstanding obligations of the purchaser in respect of which the vendor might be protected by a pledge, the vendor should be entitled to get in the pledge with a view to its forfeiture. But if, as I believe, the question what constitutes the consideration will determine not only whether the deposit unpaid may despite the discharge be recovered, but also whether the deposit paid must in consequence of the discharge be refunded, those who contend that the unpaid vendor cannot recover must recognise that the paid vendor should repay, a proposition manifestly untenable.

If the matter may be discussed in terms, not of failure of consideration, but of construction of the contract (*Harrison v Holland and Hannen and Cubitts Ltd* (1922) 91 LJKB 337 at 340–1, per Younger LJ; but see the report in [1922] 1 KB 211, 213), I see no foundation for an implication that if the contract is discharged for breach the deposit is to be forfeited if it has been paid before the date of discharge but not if the purchaser, in breach of contract, has failed to pay it before the date of discharge. Why should it be implied that the purchaser is to be in a better position if, as a result of breaking his contract, he has not paid the deposit? Compare the remarks of Horridge J in *Dewar v Mintoft* [1912] 2 KB 373 at 387, and those of Willes J in *Hinton v Sparkes* (1868) LR 3 CP 161 at 166 …

[His Honour then considered a large number of authorities generally relating to the issue and continued:] [129] Principle and authority have combined to lead me to the conclusion that … a vendor who discharges the contract in consequence of the purchaser's repudiation of it can recover a deposit that should have been paid before the contract was discharged and that I should not follow *Lyon v Magnet Nominees Pty Ltd*. (The plaintiff's claim in *Dewar* [130] *v Mintoft* appears to have been framed as one for damages; the action should have been for debt, not damages.) The claim by the present plaintiffs for payment of the balance of the deposit succeeds.

Judgment for the plaintiff.

[29.105] **Note**

On when a deposit may amount to a penalty, see *Yardley v Saunders* [1982] WAR 231; *Freedom v AHR Constructions Pty Ltd* [1987] 1 Qd R 59; *Luong Dinh Luu v Sovereign Developments Pty Ltd* [2006] NSWCA 40; 12 BPR 98,203; *Iannello v Sharpe* [2007] NSWCA 61; (2007) 69 NSWLR 452.

MITIGATION AND THE ACTION FOR DEBT

[29.110] The principles of mitigation do not apply to an action for a debt due under the contract. Thus, at least in principle, where a plaintiff chooses not to accept a repudiation of the contract, the plaintiff may be able to complete his or her obligations under the contract and sue in debt for the contract price. This result assumes that continued performance of the contract by the plaintiff does not require the co-operation of the other party. Other possible limitations are discussed in the following case.

Clea Shipping Corp v Bulk Oil Int'l (The "Alaskan Trader") (No 2)

[29.115] *Clea Shipping Corp v Bulk Oil International Ltd (The "Alaskan Trader") (No 2)* [1984] 1 All ER 129 (Queen's Bench Division, Commercial Court) – Appeal from Arbitrator.

[FACTS: On 19 October 1979, Bulk Oil, the *charterer*s, chartered the "Alaskan Trader" from Clea Shipping, the *owners*, for a period of two years. She was delivered to the charterers on 20 December 1979 and made a number of voyages. On 19 October 1980, the ship suffered a serious engine breakdown which, it was clear, would take several months to repair. The charterers said that they had no further use for the ship, charter rates having declined substantially. The owners nevertheless proceeded with repairs, which were completed by 7 April 1981, and then put the ship with a full crew at the disposal of the charterers. The charterers refused to give the master any orders, and the ship remained at anchor with a full crew ready to sail until 5 December 1981, the date of expiry of the charter. She was then sold for scrap. The charterers continued to pay hire without prejudice for the period 8 April to 5 December 1981 and at arbitration claimed back the hire. The arbitrator found that the owners had no legitimate interest in keeping the charter alive or in claiming hire rather than claiming damages and held that the charterers were entitled to reclaim the hire but were liable in damages.]

LLOYD J: [131] The owners argued that they were entitled to retain the hire, since they had kept the vessel at the disposal of the charterers throughout the period. They relied on the decision of the House of Lords in *White and Carter (Councils) Ltd v McGregor* [1962] 2 AC 413, and the decision of Kerr J in *The Odenfeld* [1978] 2 Lloyd's Rep 357. The charterers on the other hand argued that the owners ought, in all reason, to have accepted the charterers' conduct as a repudiation of the charter, and claimed damages. Even if no alternative employment could be found for the vessel, it would have been a great deal cheaper to lay the vessel up, rather than maintain her with a full crew on board. They relied on the decision of the Court of Appeal in *Attica Sea Carriers Corp v Ferrostaal Poseidon Bulk Reederei GmbH (The Puerto Buitrago)* [1976] 1 Lloyd's Rep 250 …

[132] When the matter came before Bingham J on the application for leave to appeal, he ordered the arbitrator to expand his reasons for saying: "the owners had no legitimate interest in pursuing their claim for hire rather than a claim for damages."

The explanation for the arbitrator's use of that language becomes evident when one looks at the speech of Lord Reid in *White and Carter v McGregor*. The arbitrator complied with Bingham J's order in a further lengthy document which has been put before me … In *White and Carter v McGregor* the plaintiffs agreed to display advertisements for the defendant's garage on litter bins in the neighbourhood for a period of three years. The very same day the defendant said he did not wish to go on with the contract. The plaintiff declined to accept the repudiation. They went ahead with the contract, and sued for the agreed price in debt. It was held by the House of Lords that they were justified. The minority, while conceding that an unaccepted repudiation does not put an end to the contract, nevertheless held that the plaintiffs' only remedy lay in damages, since it was obviously not a suitable case for specific performance. Lord Hodson, with whom Lord Tucker agreed, drew no distinction between anticipatory breach, and breach at the date of performance. In either case the innocent party has an unfettered right of election. He said (at 445):

> When the assistance of the court is not required the innocent party can choose whether he will accept repudiation and sue for damages for anticipatory breach or await the date of performance by the guilty party. Then, if there is failure in performance, his rights are preserved.
>
> It may be unfortunate that the appellants have saddled themselves with an unwanted contract causing an apparent waste of time and money. No doubt this aspect impressed the Court of Session but there is no equity which can assist the respondent. It is trite that equity will not rewrite an [133] improvident contract where there is no disability on either side. There is no duty laid upon a party to a subsisting contract to vary it at the behest of the other party so as to deprive himself of the benefit given to him by the contract. To hold otherwise would be to introduce a novel equitable doctrine that a party was not to be held

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> to his contract unless the court in a given instance thought it reasonable so to do. In this case it would make an action for debt a claim for a discretionary remedy. This would introduce an uncertainty into the field of contract which appears to be unsupported by authority …

Lord Reid agreed with Lord Hodson and Lord Tucker that on the facts the plaintiffs' claim in debt must succeed. But his speech contains two important observations on the law. First, he pointed out that it is only in rare cases that the innocent party will be able to complete performance of his side of the contract, without the assent or co-operation of the party in breach … The peculiarity of *White and Carter v McGregor*, as Lord Reid pointed out (at 429) was that the plaintiffs could completely fulfil their part of the contract without any co-operation from the defendant.

The second observation as to the law was that a party might well be unable to enforce his contractual remedy if "he had no legitimate interest, financial or otherwise, in performing the contract rather than claiming damages." Lord Reid did not go far in explaining what he meant by legitimate interest except to say that the de minimis principle would apply. Obviously it would not be sufficient to establish that the innocent party was acting unreasonably. Otherwise Lord Reid would not have rejected the Lord President's formulation in *Langford & Co Ltd v Dutch* 1952 SC 15 that "the only reasonable and proper course" was for the pursuers to accept the repudiation. As Lord Reid said (at 430):

> It might be, but it never has been, the law that a person is only entitled to enforce his contractual rights in a reasonable way, and that a court will not support an attempt to enforce them in an unreasonable way. One reason why that is not the law is, no doubt, because it was thought that it would create too much uncertainty to require the court to decide whether it is reasonable or equitable to allow a party to enforce his full rights under a contract. The Lord President cannot have meant that.

Nor does Lord Reid go far in explaining the juristic basis on which the court can confine the plaintiffs' remedy to a claim for damages. All he says is that, in the absence of legitimate interest: "that might be regarded as a proper case for the exercise of the general equitable jurisdiction of the court." …

It is clear that, on the facts, no attempt had been made by the defendant to establish absence of legitimate interest. Accordingly, counsel for the owners was right when he submitted that the two observations which I have mentioned, were both, strictly speaking, obiter. I further accept that the language used by Lord Reid is tentative. But I do not accept counsel's submission that Lord Reid was merely recording the arguments of counsel, a possibility canvassed by Lord Justice Salmon and Lord Justice Buckley in *Decro-Wall International SA v Practitioners in Marketing Ltd* [1971] 1 WLR 361 … [134] Very soon afterwards, *Decro-Wall v Marketing* came before the Court of Appeal. That was a case of a sole agency agreement. The plaintiffs, a manufacturing company carrying on business in France, purported to terminate the agreement on the ground of an alleged repudiation by the defendants, an English marketing company. The defendants sought a declaration that the agreement was still subsisting, and an injunction to restrain the plaintiffs from appointing another sole agent. It was argued for the plaintiffs that, if they were wrong in their main submission, then at least the defendants were obliged to accept their purported termination of the agreement as a repudiation. They relied on the first of the [649] two observations of Lord Reid in *White and Carter v McGregor*, namely, that the sole agency agreement could not be performed without the co-operation of the plaintiff manufacturers, and that therefore the contract had come to an end without any election by the defendants. The plaintiffs' argument was rejected. Both Lord Justice Salmon and Lord Justice Sachs made clear that it is not the right to elect which is limited by the first of Lord Reid's observations, but the range of remedies. You cannot claim remuneration under a contract if you have not earned it; if you are prevented from earning it, your only remedy is in damages. In the *Decro-Wall* case the defendants were not claiming remuneration. They were claiming a declaration and an injunction. Accordingly what Lord Reid had said was irrelevant to the case before them. Nothing was said in the *Decro-Wall* case about the second of the two observations of Lord Reid in *White and Carter v McGregor*.

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The next case, on which Mr Cooke relied, is *The Puerto Buitrago*. In that case a vessel suffered an engine breakdown in the course of her service under a demise charter. There was a provision in the charter that the vessel should be drydocked before redelivery, and any repairs found to be necessary were to be carried out at charterers' expense. The repairs were estimated to cost $2 million. The value of the vessel when repaired would only have been $1 million. The charterers declined to carry out the repairs. They purported to redeliver the vessel in her unrepaired state. The owners refused to accept redelivery. They argued that the charterers were bound to repair the vessel, and that hire continued to be payable until they had. The Court of Appeal decided in favour of the charterers. They held, on a preliminary question of law, that the obligation to repair was not a condition precedent to the right to redeliver. But they went on to consider three other questions of law which had been agreed between the parties, but which only arose if they were wrong on the first question of law. For the purpose of the fourth question, they assumed that the charterers were in breach by insisting on redelivering the vessel without first repairing her. On that assumption the fourth question was whether the owners were obliged to accept the charterers' conduct as a repudiation. The owners argued not. They relied on *White and Carter v McGregor*. The Court of Appeal rejected the owners' argument. Lord Denning MR said that *White and Carter v McGregor*

> has no application whatever in a case where the plaintiff ought, in all reason, to accept the repudiation and sue for damages — provided that damages would provide an adequate remedy for any loss suffered by him. The reason is because, by suing for the money, the plaintiff is seeking to enforce specific performance of the contract — and he should not be allowed to do so when damages would be an adequate remedy.
>
> …
>
> What is the alternative which the shipowners present to the charterers? Either the charterers must pay the charter hire for years to come, whilst the vessel lies idle and useless for want of repair. Or the charterers must do repairs which would cost twice as much as the ship would be worth when repaired — after which the [135] shipowners might sell it as scrap, making the repairs a useless waste of money. In short, on either alternative, the shipowners seek to compel specific performance of one or other of the provisions of the charter — with most unjust and unreasonable consequences — when damages would be an adequate remedy. I do not think the law allows them to do this.

Orr LJ confined his judgment to the fourth question. He set out the two passages from Lord Reid's speech which contain the two observations I have mentioned. He then continued …

In that passage Orr LJ was distinguishing *White and Carter v McGregor* on two separate grounds. First, unlike *White and Carter v McGregor* the charterparty could not be performed without the co-operation of the charterers. Second, unlike *White and Carter v McGregor*, the charterers had set out to prove (and presumably *had* proved) that the owners had no legitimate interest in claiming hire rather than damages. Browne LJ specifically agreed with Lord Denning MR, and Orr LJ on the fourth question.

Counsel for the owners argued that what the Court of Appeal said on the fourth question was obiter. Even if I assume that to be so, there is, at the very least, the strong persuasive authority of the majority of the Court of Appeal – Orr and Browne LJJ — in support of what Lord Reid had said in *White and Carter v McGregor* that the absence of a legitimate interest is a ground on which the owners may be compelled to accept damages in lieu of hire.

Lastly, there is *Gator Shipping Corp v Trans-Asiatic Oil Ltd SA and Occidental Shipping Establishment (The Odenfeld)* [1978] 2 Lloyd's Rep 357 …

There were a number of preliminary issues for determination by the court. The third issue was whether, on the assumption that the charterers had repudiated the charterparty, the owners ought to have accepted the repudiation. Kerr J held not. He was invited to consider *White and Carter v McGregor, Decro-Wall*, and *The Puerto Buitrago*. He took the view that *The Puerto Buitrago* was an extreme case on the facts. Nevertheless he accepted the importance of the case as:

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> a presently binding authority on this court in limiting or qualifying the generality of the principle of a virtually unfettered right of election in favour of the innocent party.

[136] I do not know whether by referring to a *presently* binding authority, Kerr J was indicating that in his view the case may have been wrongly decided. For present purposes it does not matter. Kerr J's own formulation of the law, derived from *The Puerto Buitrago* and *Decro-Wall* was that:

> any fetter on the innocent party's right of election whether or not to accept a repudiation will only be applied in extreme cases, viz where damages would be an adequate remedy and where an election to keep the contract alive would be wholly unreasonable …

In the light of these authorities, I must return to the facts of the present case. It may be convenient to repeat a few sentences from para 30 of the award:

> I am satisfied that this commercial absurdity is not justified by a proper interpretation of the decided cases. I consider that the analogy of a contract between master and servant applies more closely to a time charter than the analogy of a simple debt. The owner supplies the vessel and crew; the charterer supplies fuel oil, pays disbursements and gives orders.
>
> The charterers were also able to satisfy me that at that stage the owners had no legitimate interest in pursuing their claim for hire rather than a claim for damages.
>
> In these respects the present case differs materially from the case of *White and Carter v McGregor*, and is more closely analogous to the case of *The Puerto Buitrago* where the judgments of Lord Denning and Lord Orr are particularly in point.

It seems to me that the arbitrator is here distinguishing clearly between the two observations or limitations on the general principle to which Lord Reid had drawn attention in his speech. He is saying that a time charter is more analogous to a contract between master and servant than a simple debt, that is, that it is a contract which calls for co-operation between both parties. He is also saying – "The charterers were *also* able to satisfy me" – that the owners had no legitimate interest in pursuing their claim for hire as distinct from damages. I will take the legitimate interest point first.

In addition to arguing that what Lord Reid had said about legitimate interest was only a quotation from counsel, and in any event obiter – arguments with which I have already dealt – counsel for the owners submitted that Lord Reid was, quite simply, wrong. It seems to me that it would be difficult for me to take that view in the light of what was said by all three members of the Court of Appeal in *The Puerto Buitrago*. Whether one takes Lord Reid's language, which was adopted by Orr and Browne LJJ in *The Puerto Buitrago*, or Lord Denning MR's language in that case ("in all reason"), or Kerr J's language in *The Odenfeld* ("wholly unreasonable, quite unrealistic, unreasonable and untenable"), there comes a point at which the court will cease, on general equitable principles, to allow the innocent party to enforce his contract according to its strict legal terms. How [137] one defines that point is obviously a matter of some difficulty; for it involves drawing a line between conduct which is merely unreasonable (see per Lord Reid in *White and Carter v McGregor* criticising the Lord President in *Langford Co Ltd v Dutch*) and conduct which is *wholly* unreasonable: see per Kerr J in *The Odenfeld*. But however difficult it may be to define the point, that there *is* such a point seems to me to have been accepted both by the Court of Appeal in *The Puerto Buitrago* and by Kerr J in *The Odenfeld*.

I appreciate that the House of Lords has recently re-emphasised the importance of certainty in commercial contracts, when holding that there is no equitable jurisdiction to relieve against the consequences of the withdrawal clause in a time charter: *Scandinavian Trading Tanker Co AB v Flota Petrolera Ecuatoriana (The Scaptrade)* [1983] 1 Lloyd's Rep 146. I appreciate, too, that the importance of certainty was one of the main reasons urged by Lord Hodson in *White and Carter v McGregor* in upholding the innocent party's unfettered right to elect. But for reasons already mentioned, it seems to me that this court is bound to hold that there is *some* fetter, if only in extreme cases; and for want of a better way of describing that fetter, it is safest for this court to use the language of Lord Reid, which, as I have already mentioned, was adopted by a majority of the Court of Appeal in *The Puerto Buitrago*.

Clea Shipping Corp v Bulk Oil Int'l (The "Alaskan Trader") (No 2) cont.

I would add only two observations of my own. First, although the point is sometimes put in terms of the innocent party being obliged to accept the repudiation (it is so put by the arbitrator in the last sentence of para 31 of his award), I think it is more accurate to say that it is the court which, on equitable grounds, refuses to allow the innocent party to enforce his full contractual rights. It is, as Sachs LJ said in *Decro-Wall* the range of remedies which is limited, not the right to elect. The court is not exercising a dispensing power; nor is it rewriting an improvident contract. It is simply refusing a certain kind of relief. In America, the courts take the uncomplicated view that whether the repudiation is accepted or not, the innocent party is *always* obliged to mitigate his damages: see *Williston on Contracts*, para 1298; *Corbin on Contracts*, para 983; Professor Sir AL Goodhart (1962) 78 LQR 263 at 267.

Second, on the point of uncertainty, it is of course true that the existence of a fetter on the right to claim hire, even if it only be exercised in extreme cases, necessarily introduces an element of uncertainty. Thus it can be said with force that bankers need to know where they are when accepting an assignment of charter hire as security for their loan. On the other hand, absolute certainty can never be attained. Mr Cooke gave as an example the doctrine of frustration which may import a degree of uncertainty into commercial contracts of all kinds …

On the facts of *The Odenfeld*, Kerr J held on various grounds that the owners had ample justification for enforcing their claim for hire, at least until September 1976, although he went on to hold that the owners must be taken to have accepted the charterers' repudiation when they laid up the vessel in July 1976. Kerr J did not use the language of "legitimate interest". But he must be taken to have found that the charterers had failed to prove absence of legitimate interest on the part of the owners in claiming hire. One of the grounds on which Kerr J so found was the difficulty in calculating damages.

In the present case, by contrast, the arbitrator has found, and found clearly, that the owners had *no* legitimate interest in pursuing their claim for hire. In my view that finding is conclusive of this appeal …

[139] For the reasons I have given I would dismiss the charterers' appeal and uphold the award.

Appeal dismissed.

[29.118] **Note**

For further discussion of the issues raised in this case, see Carter, "*White & Carter v McGregor* – How Unreasonable" (2012) 118 *Law Quarterly Review* 490; Liu, "The *White & Carter* Principle: A Restatement" (2011) 74 *Modern Law Review* 171.

PENALTIES AND THE ACCELERATION OF A DEBT

[29.120] In *O'Dea v Allstates Leasing System (WA) Pty Ltd* (1983) 152 CLR 359, 366, Gibbs CJ approved the principle that:

> [I]f a sum of money is payable by instalments, and it is provided that in the event of one instalment not being punctually paid the whole sum shall immediately become payable, the acceleration of payment is not a penalty: *Protector Loan Co v Grice* (1880) 5 QBD 592.

CHAPTER **30**

Specific performance and injunctions

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[30.05] In most cases, a plaintiff complaining of a breach of contract will be limited to the common law remedy of damages. The equitable remedy of specific performance is available only where damages will not be adequate, such as where the subject matter of the contract is unique (see *Dougan v Ley* (1946) 71 CLR 142, extracted at [30.15]). Specific performance is most commonly granted in respect of contracts for the sale of land. The courts are less restrictive in their approach to granting injunctions to restrain breaches of contract but will generally grant an injunction only in respect of a negative stipulation, that is, a promise *not* to do something (see *Curro v Beyond Productions Pty Ltd* (1993) 30 NSWLR 337, extracted at [30.45] and *JC Williamson Ltd v Lukey & Mulholland* (1931) 45 CLR 282, extracted at [30.70]).

SPECIFIC PERFORMANCE

[30.10] There are three essential requirements for a decree of specific performance: the contract must have been made for valuable consideration, it must be enforceable (in the sense of not being subject to any of the vitiating factors discussed in Part IX) and damages must, in the circumstances, be inadequate. Specific performance is a discretionary remedy, and the court will take a wide range of factors into account in exercising its discretion. These include the likelihood that the continued supervision of the court will be required to enforce the decree, whether the contract involves the performance of personal services, whether the plaintiff has delayed in seeking relief, whether the plaintiff is in breach of the contract, whether the plaintiff is ready and willing to perform, whether the decree would cause hardship to the defendant and whether the decree is likely to be futile. See *JC Williamson Ltd v Lukey & Mulholland* (1931) 45 CLR 282, extracted at [30.70].

Dougan v Ley

[30.15] *Dougan v Ley* (1946) 71 CLR 142 (High Court of Australia) – On Appeal from the Supreme Court of New South Wales.

[FACTS: Dougan (the *appellant*) verbally agreed to sell a taxi-cab, together with the benefit of registration and an operating licence, to Ley and Nash (the *respondents*) for a sum of £1,850. The applicable legislation provided that the registration and licence could only be transferred to a person who satisfied the Commissioner for Road Transport and Tramways that he was a fit and proper person to hold such registration and licence. The appellant refused to complete the transaction,

Dougan v Ley cont.

and the respondents sought specific performance. The appellant claimed that an award of damages at common law would adequately compensate the respondents. Witnesses gave evidence that the number of licences to operate taxi-cabs in Sydney was limited to 950, that there were relatively few sales and that it was difficult to purchase a taxi-cab. One witness suggested that there were six persons desirous of purchasing a taxi-cab for every willing seller. A few days before the hearing, Ley and Nash bought another taxi-cab for £1,900. The trial judge, Roper J, decreed specific performance. Dougan appealed to the High Court of Australia.]

DIXON J: [148] Roper J, who heard the suit, declared that the agreement should be specifically performed and decreed the appellant to do all things and execute all documents which are proper and necessary in order to enable the plaintiffs to present a proper application to the Commissioner for Road Transport and Tramways for the granting of a transfer of the registration and licence of the taxi-cab, and further [149] decreed that in the event of such an application being granted the respondents should pay to the appellant the balance of purchase money due from them and that the appellant should thereupon deliver the taxi-cab to them (1945) 63 WN (NSW) 224.

[Dixon J reviewed the legislation governing the transfer of the registration and licence and continued:] It follows that the appellant is bound to take certain formal steps and the respondents, on their part, must satisfy the Commissioner of their fitness and that they will have the use, control and management of the vehicle. There is nothing in this, in respect of either side, calling for the continued supervision of the Court. The appeal is based primarily upon the contention that the contract is not one appropriate for the equitable remedy of specific performance.

The subject matter, it is said, is the sale of a chattel and, in general, a suit for the specific performance of an agreement to sell and deliver chattels will not be entertained. But, when the substance of the matter is considered, the agreement is not of this simple character. The legislation has resulted in a restriction upon the number of registered and licensed vehicles with which the calling of taxi-driving may be pursued. The contract is in fact for the transfer of a valuable privilege annexed to a chattel. Of the amount of the consideration, somewhat the greater part appears to represent the registration and licence and the lesser part the vehicle itself. The number of taxi-cabs licensed for the city and suburbs of Sydney which had not been already sold once since the commencement of Act No 22 of 1945 was shown to be only 880. Thirty-seven taxis had, according to the [150] evidence, been sold since that date and the prices paid for the licences of the vehicles were said to have averaged £1 318. The subject of the sale is thus shown to be a special right attached to a chattel, transferable only with it, and numerically restricted.

Though in earlier times the absence of an adequate theory of simple contract had led to the interposition of chancery on wider grounds, by the seventeenth century, if not before, it had come to be "taken for a good cause of dismission" of a bill "in most causes, to say that he" the plaintiff "hath remedy at the common law" (circa 1602) Cary 20; 21 ER 11. So it became the received doctrine that the foundation of decrees for specific performance was "that damages at law would not give the party the compensation to which he was entitled; that is, would not put him in a situation as beneficial to him as if the agreement were specifically performed" (per Lord Redesdale, *Harnett v Yeilding* (1805) 2 Sch & Lef 549, 553; 9 ER 98, 100, 101).

> The Court gives specific performance instead of damages, only when it can by that means do more perfect and complete justice (per Lord Selborne, *Wilson v Northampton and Banbury Junction Railway Co* (1874) LR 9 Ch 279, 284).

In the case of goods or securities obtainable upon the market, damages at law place the disappointed buyer or seller in as good a position as delivery of the articles or receipt of the price because it enables him to go upon the market. But damages at law for the refusal of a vendor of land to go on with the contract might not be a complete remedy to the purchaser, to whom the land might have a special value (*Adderley v Dixon* (1824) 1 Sim & St 607, 610; 57 ER 239, 240), and the vendor's failure to

Dougan v Ley cont.

complete through defect of title left the purchaser without any adequate remedy at law (*Flureau v Thornhill* (1776) 2 Black W 1078, 96 ER 635; *Bain v Fothergill* (1874) LR 7 HL 158, 201, 207–10). But specific performance is also the right of a vendor of land against a defaulting purchaser. "It has been said, but has long since been overruled, that a seller may go to law, as he only wants the money, whereas the purchaser wants the estate; but a seller wants the exact sum agreed to be paid to him, and he wants to divest himself legally of the estate, which after the contract was no longer vested in him beneficially" (per Lord St Leonards, *Eastern Counties Railway Co v Hawkes* (1855) 5 HLC 331, 376; 10 ER 928, 945).

But apart from land, a contract for which has always been considered a proper subject of specific performance, the question raised for the Court of Chancery was to say in what circumstances equity [151] considered the purchaser entitled to the specific thing contracted to be sold or the vendor to divest himself of it and receive the price, rather than in either case being bound to accept damages as the price of the loss of the contract.

It was not difficult to say that a purchaser of "articles of unusual beauty rarity and distinction" was entitled to obtain them in specie (*Falcke v Gray* (1859) 4 Drew 651, 658; 62 ER 250, 252). Though a less obvious case, it was settled that "a certain number of railway shares of a particular description, which railway shares are limited in number" and are not to be obtained by going on the share market, are a subject in respect of which a contract of sale will be enforced specifically (*Duncuft v Albrecht* (1841) 12 Sim 189, 199; 59 ER 1104, 1108). But though it is within the power of a court of equity to decree specific performance of a contract for the sale and purchase of shares, yet when shares are dealt in largely on the market and anyone can go and buy them, there is no reason why they should not be in the same position as government stock is, in a contract for its sale and purchase (per Parker J, *Stern v Schwabacher; Re Schwabacher* (1907) 98 LT 127, 128). Where chattels are sold or otherwise disposed of by contract as part of the particular equipment of a business, there is ground for equity granting specific relief. There appears to be no direct case of specific performance, but compare *North v Great Northern Railway Co* (1860) 2 Giff 64, 68, 69; 66 ER 28, 30; *Nutbrown v Thornton* (1804) 10 Ves Jun 160; 32 ER 805.

In the present case I think that we should have no difficulty in concluding that, because of the limited number of vehicles registered and licensed as taxi-cabs, because of the extent to which the price represents the value of the licence, and because of the essentiality to the purchasers' calling of the chattel and the licence annexed thereto, we should treat the contract as within the scope of the remedy of specific performance.

An answer was attempted on the part of the appellant to the effect that the respondents in fact succeeded in buying another taxi-cab. This, I think, is not material. It was not an election on their part to obtain a substitute at the expense, in damages, of the appellant. They were entitled to obtain an additional car, if they could, for their business without prejudicing their right to obtain in specie the taxi-cab registration and licence already contracted for.

An argument was advanced that there was a lack of mutuality because, as against the respondents as purchasers, the contract could [152] not be enforced without a continued supervision or superintendence, which the Court would not undertake: cf *Peto v Brightons Uckfield and Tunbridge Wells Railway Co* (1863) 1 H & M 468; 71 ER 205; *Pickering v Bishop of Ely* (1843) 2 Y & CCC 249, 266–8; 63 ER 108, 117, 118. But it is evident from the nature of the statutory provision that the argument is misconceived. All the respondents must do is to submit the materials for satisfying the Commissioner. If they fail to satisfy him the decree has no further operation ….

In my opinion the appeal should be dismissed with costs.

[30.20] WILLIAMS J: [153] It is clear that the Court of Equity will not decree specific performance of a contract where a money payment, or in other words damages, will afford an adequate remedy

Dougan v Ley cont.

for the breach, and that this is the position in the case of most forms of personal property, such as goods which can be readily purchased in the market and Government stock and shares in listed companies which can be readily purchased on the Stock Exchange. But it is equally clear that the Court of Equity will decree specific performance of contracts for the sale of chattels which are unique or have for some other reason a special or peculiar value. The contract of 2nd November was not a mere contract for the purchase of a chattel. It was a contract for the purchase of a chattel adapted to carry on a particular business, and of the registration and licence without which that business could not be carried on. It was therefore a contract of a composite character. The evidence shows that if the purchase money had been apportioned, the greater sum would have been attributable to the purchase of the registration and licence. This registration and licence were both capable of being renewed annually and of being transferred to another vehicle which replaced the existing taxi-cab.

The Court of Equity can intervene to protect the rights of persons who have interests in licences which are necessary to enable them to carry on business (*Leney & Sons Ltd v Callingham and Thompson* [1908] 1 KB 79, 85). It can also intervene where chattels are of special value to a person in order to carry on his business (*North v Great Northern Railway Co* (1860) 2 Giff, at 68; 66 ER, 30). The present composite contract incorporates both these features. The fact that there were a number of other taxi-cabs whose registrations and licences were still capable of being transferred at the date of the suit and that the respondents might have purchased one of these cabs in lieu of the appellant's vehicle is immaterial. It is equally immaterial that the respondents, after suit brought, managed to purchase another taxi-cab. If personal [154] property is of such a nature that it can be the subject matter of a suit for specific performance, the subsequent purchase of similar property could no more affect the rights of the purchaser to specific performance than the subsequent purchase of another block of entirely comparable land in a subdivision adjoining the block already purchased could affect the right of the purchaser to have the previous contract specifically performed. I agree with his Honour's statement that "this particular chattel, with the rights which come from registration and the licence as a taxi-cab, is of such a nature that this Court can properly entertain a suit for specific performance in regard to this sale".

I also agree with him that the second ground fails …. Where the steps which are required to obtain the consent are defined and capable of supervision it is well within the competence of the Court of Equity to compel the parties to take such steps. In the present case it is the respondents who must attempt to satisfy the Commissioner in the two respects already mentioned. They must place before him such evidence as he may reasonably require for this purpose. An order that the respondents should do so would be analogous to the order set out in *Egan v Ross* (1928) 29 SR (NSW) 382, 388. The contract was not, therefore, wanting in mutuality at the date that it was made. But even if it had been, the better opinion would appear to be that a contract is capable of being specifically performed if, notwithstanding that it was not mutually enforceable at that date, it has become mutually enforceable at the date the suit is [155] instituted. Even if the respondents could not have been ordered to take such steps in a suit instituted by the vendor, they have offered by their statement of claim to do everything that is necessary to complete the contract. There was, therefore, no want of mutuality from the date the suit was brought (*Queensland Insurance Co Ltd v Australian Mutual Fire Insurance Society Ltd* (1941) 41 SR (NSW) 195, 202; *Hume v Munro [No 2]* (1943) 67 CLR 461, 483, 484).

For these reasons I would dismiss the appeal.

[RICH J delivered a judgment in which he reached the same result. STARKE J agreed that the appeal should be dismissed, for the reasons given by the trial judge. MCTIERNAN J agreed with Dixon J.]

Appeal dismissed.

INJUNCTIONS

Curro v Beyond Productions Pty Ltd

[30.45] *Curro v Beyond Productions Pty Ltd* (1993) 30 NSWLR 337 (New South Wales Court of Appeal) – Appeal from Cole J.

[FACTS: Tracey Curro, a television presenter, and her company Talking Heads Productions (the *defendants/appellants*) entered into contracts with Beyond Productions, the producer of the documentary program "Beyond 2000" (the *plaintiff/respondent*). The service agreement with Miss Curro obliged her (cl 1) to provide her services to assist in the presentation of the program "Beyond 2000".

She also agreed that she would not (cl 2(iii)):

> … engage in any other presentation activity during the term of this Agreement, including the making of any advertisement or commercial announcement whether for use on television or radio or in the print media or any exploitation of her role as a presenter of the Programs without the prior written consent of Beyond, such consent not to be unreasonably withheld.

The services agreement of the same date between the defendants and Beyond provided (cl 1) that Talking Heads would provide the services of Miss Curro as writer/producer to assist in the writing of the scripts for segments of the programs and the production of such segments.

By cl 2(iii) of the services agreement, Miss Curro promised "not to enter into any engagement or carry on any activity which might reasonably be expected to prevent her from rendering to Beyond her services under this Agreement".

The contracts were made in August 1991 for an original term of one year. Beyond had options to renew the contracts in July 1992 and July 1993 for further one-year terms. Beyond exercised the 1992 option, so the contracts were due to expire in August 1993 or August 1994 if Beyond exercised the final option in July 1993.

On 29 January 1993, Miss Curro advised Beyond that she had been approached by Channel 9 (Nine) to work as a television reporter for its program "60 Minutes" and that she wished to accept the offer. On 15 February, Miss Curro and Talking Heads entered into contracts with Nine to work on "60 Minutes". On 31 March, Cole J granted orders restraining the defendant, Miss Curro, from acting in breach of the negative promises in her contracts with the plaintiff. The defendants appealed. They argued that the promises were void as unreasonable restraints of trade and that the court could not properly enforce them by injunction. The appeal was heard by Meagher, Handley and Cripps JJA. The Court of Appeal handed down its judgment on 7 May.]

THE COURT:

Restraint of trade

[341] The appellants' submission on this issue was that the agreements as a whole, or in the alternative the negative promises in cl 2(iii) in each contract were void as unreasonable restraints of trade. There is a preliminary question whether the restraint of trade principles apply at all in the present case. In *Esso Petroleum Co Ltd v Harper's Garage (Stourport) Ltd* [1968] AC 269, 328–9, Lord Pearce said:

> The doctrine does not apply to ordinary commercial contracts for the regulation and promotion of trade during the existence of the contract, provided that any prevention of work outside the contract, [342] viewed as a whole, is directed towards the absorption of the parties' services and not their sterilisation. Sole agencies are a normal and necessary incident of commerce and those who desire the benefits of a sole agency must deny themselves the opportunities of other agencies. So, too, in the case of a film-star who may tie herself to a company in order to obtain from them the benefits of stardom ….

When a contract only ties the parties during the continuance of the contract, and the negative ties are only those which are incidental and normal to the positive commercial arrangements at which the contract aims, even though those ties exclude all dealings with others, there is no restraint of trade within

Curro v Beyond Productions Pty Ltd cont.

the meaning of the doctrine and no question of reasonableness arises … if *during* the contract one of the parties is too unilaterally fettered so that the contract loses its character of a contract for the regulation and promotion of trade and acquires the predominant character of a contract in restraint of trade. In that case … the question whether it is reasonable arises. See also at 294, 307, 320, 336 and *Queensland Co-operative Milling Association v Pamag Pty Ltd* (1973) 133 CLR 260, *Amoco Australia Pty Ltd v Rocca Bros Motor Engineering Co Pty Ltd* (1973) 133 CLR 288 and *Quadramain Pty Ltd v Sevastopol Investments Pty Ltd* (1976) 133 CLR 390. There is much to be said for the view that no question of restraint of trade arises at all in this case, but we will consider the submissions of the appellants on the assumption that it does.

The contracts were said to be unreasonable because Beyond was not bound by their terms to provide Miss Curro or Talking Heads with any work. It could simply elect to pay their remuneration, give them no work, and keep Miss Curro's talents "sterilised" for up to three years …. Ordinarily an employee cannot demand to be given work and the obligation of the employer is limited to payment of the agreed remuneration: *Turner v Sawdon & Co* [1901] 2 KB 653. As Dixon J said, this is an application of the principle that "they also serve who only stand and wait": see *Automatic Fire Sprinklers Pty Ltd v Watson* (1946) 72 CLR 435, 467. However there is a well-established exception to this general rule in the case of actors and others in a similar position who are vitally interested in opportunities to perform or exercise a skill or talent in public … [343] Success as a television presenter no less than as an actor or actress, in the words of Sir John Romilly MR "entirely depends on pleasing the public and upon being constantly before the public": *Fechter v Montgomery* (1863) 33 Beav 22,; 55 ER 274, 276 and see *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322, 338. In the circumstances the presumed intention of the parties was that Beyond impliedly contracted to give Miss Curro a reasonable opportunity of performing services of the kind specified in Schedule 1 of the agreements and of appearing before the public. This did not mean that she was entitled to appear as host or presenter in any particular program since Beyond retained a broad [344] managerial discretion to make use of her services as and when required: see also *Grimston v Cuningham* [1894] 1 QB 125. However she was entitled to be given work of appropriate quality to keep her name and talents before the public with reasonable frequency.

In our opinion therefore Beyond had no contractual right to sterilise Miss Curro's services and keep her away from the viewing public. On the contrary any attempt by Beyond to act in that way would be a repudiatory breach entitling Miss Curro to rescind and sue for damages: see *Associated Newspapers Ltd v Bancks* (especially at 337–8). The contracts as such are therefore not in unreasonable restraint of trade.

The next question is whether the negative promises themselves are unreasonable restraints of trade. The question that must be asked is whether those restrictions exceed what is reasonably necessary for the protection of the legitimate interests of Beyond: see *Buckley v Tutty* (1971) 125 CLR 353 at 376 and *A Schroeder Music Publishing Co Ltd v Macaulay (formerly Instone)* [1974] 1 WLR 1308, 1310. The onus of establishing the reasonableness of the restraint lies upon the party seeking its enforcement: *Buckley v Tutty* (at 377). The validity of the restraint is to be tested at the time of entering into the contract and by reference to what the restraint entitles or requires the parties to do rather than what they intend to do or have actually done: *Adamson v New South Wales Rugby League Ltd* (1991) 31 FCR 242, 285 per Gummow J. Further, as Lord Pearce said in *Esso Petroleum Co Ltd v Harper's Garage (Stourport) Ltd* (at 323): "It is important that the court, in weighing the question of reasonableness, should give full weight to commercial practices and to the generality of contracts made freely by parties bargaining on equal terms."

See also *Queensland Co-operative Milling Association v Pamag Pty Ltd* (at 268) and *A Schroeder Music Publishing Co Ltd v Macaulay (formerly Instone)* (at 1314).

The negative promises in this case do not continue in force after the contracts have expired. It is therefore necessary to identify the legitimate interests of Beyond while the contracts are on foot which would be protected by those promises. Beyond would always have an interest in protecting its investment in unfinished stories on which Miss Curro had been engaged, it might need her services for further filming or voice-over recording and therefore had a real interest in her fulfilling her contractual obligations in relation to those stories. When Miss Curro and Talking Heads repudiated their contracts Beyond had twenty-one unfinished stories on which she had worked. At that stage these would have

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taken ten weeks to script and post-production work would have required further time after that. As at 25 February, the date for compilation of Miss Curro's last story was scheduled for 9 June with a tentative on-air date of 3 July. When the trial started there were still some fourteen unfinished stories for which she had been responsible. Although Nine agreed to her working for Beyond after 15 March to finish these stories, this was conditional upon that work not interfering with her obligations to 60 Minutes. It is clear that there would always be a substantial interval between the commencement of work by Miss Curro on a story and the date when it would be broadcast.

[345] Beyond also had an interest in retaining Miss Curro's services and preventing her from appearing on a rival television program because of its obligations to Seven. The contract with Seven required Beyond to use its best endeavours to ensure that its presenters did not appear in other television programs or in television, radio or theatrical commercials without the written consent of Seven which it undertook not to unreasonably withhold. Beyond cannot replace a presenter without the written consent of Seven which again, cannot be unreasonably withheld. Moreover his Honour was entitled to conclude as he did that Beyond has its own interest in its presenters not appearing on shows such as 60 Minutes while their stories were appearing on Beyond 2000 because of the differences between the two programs. Beyond had previously refused to consent to Miss Curro producing an advertisement for skin lotions because they were seen as inconsistent with the reputation of Beyond 2000 for objectivity, integrity, and scientific accuracy. Miss Curro accepted that Beyond's concerns in relation to those advertisements were genuine and realistic.

Negative promises of this type, express or implied, are common in the entertainment industry. They date back to *Lumley v Wagner* (1852) 1 De GM & G 604; 42 ER 687, or earlier and were found in the contracts in *White v Australian and New Zealand Theatres Ltd* and *Associated Newspapers Ltd v Bancks*. Indeed, Miss Curro accepted greater contractual restrictions in the contracts she entered into with Nine in February.

Beyond was obliged to give Miss Curro a reasonable opportunity to do her work. Any sterilisation of her services would result from a calculated decision by her to withdraw them from Beyond. Beyond had legitimate commercial reasons for including those negative promises in the agreements. Miss Curro had competent legal advice from her husband and her solicitor before she entered into the contracts. The parties were in an equal bargaining position and at the time Miss Curro had another offer of employment at higher remuneration. She did not then object to the restraints or seek to have them modified. In these circumstances we agree with Cole J that the negative promises were not unreasonable restraints of trade.

Mr Campbell relied on the decision of the House of Lords in *A Schroeder Music Publishing Co Ltd v Macaulay (formerly Instone)*. A twenty-one year old composer signed an agreement to provide his exclusive services to the publisher for five years and assigned to it the world copyright in his compositions during that period. His remuneration consisted only of royalties on published works but the publishers were under no obligation to publish. They had, but the composer did not, the right to terminate the agreement at any time on one month's notice. If the composer's royalties exceeded £5 000 during the term of the contract it was automatically extended for a further five years. The House of Lords had little difficulty affirming the unanimous decisions below and holding that the restraints on the composer were contrary to public policy and void. Lord Reid said (at 1314; 622):

> Any contract by which a person engages to give his exclusive services to another for a period necessarily involves extensive restriction during that period of the common law right to exercise any lawful activity he chooses in such manner as he thinks best. Normally the doctrine of restraint of trade has no application to such restrictions: they require no [346] justification. But if contractual restrictions appear to be unnecessary or … oppressive … they must be justified before they can be enforced.

He later described the agreement in that case, not unfairly one might think, as "one-sided" (at 1315; 622). That decision is of no assistance to Miss Curro in this case, except by way of contrast. Her negative promises are neither unnecessary nor oppressive.

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The appellants relied upon Miss Curro's so-called right to work as entitling her to change jobs without being restrained from breaching her contractual obligations which might otherwise stand in the way. However as Hohfeld demonstrated long ago there is no such right in the strict sense, merely liberty, and this distinction has been recognised by the courts. In *Forbes v New South Wales Trotting Club Ltd* (1979) 143 CLR 242, 260–1, Barwick CJ said:

> … To convert the doctrine that … there should be no unreasonable restraint on employment into a doctrine that every man has a "right to work", is, in my opinion, to depart radically from … the common law … It is in the public interest that a man should be able to exercise his capacity to work. The law does not enforce a right to exercise that capacity: it does no more than remove the unreasonable impediment upon its exercise.

This passage was approved in *Hepples v Federal Commissioner of Taxation* (1992) 173 CLR 492, 502, 527, 549.

Injunctions

[30.50] Cole J granted the injunctions pursuant to the doctrine of *Lumley v Wagner*. The appellants challenge both the continuing authority of that case and its applicability in the present circumstances. In our view Cole J was correct, and the challenges to his judgment on these bases must fail.

Whilst it would be impossible in the time available to make a detailed analysis of all the relevant cases, or even to discuss adequately those which were referred to, we shall endeavour to state in a concise form what we understand to be the law on this topic. Until recently, it could be summarised as reflecting three principles: first, that under the doctrine enunciated by Lord Cairns LC in *Doherty v Allman* (1878) 3 App Cas 709, 720, a court of equity would always grant an injunction to enforce a negative contractual promise made for consideration; secondly, that, by way of exception a negative promise would not be enforced by injunction if that would have the practical effect of compelling specific performance of a contract of personal service or if it would force the defendant either to perform that contract or remain idle (with overtones of destitution); and thirdly, by way of exception to the exception, in the case of special services a promise not to take employment with a competitor, would, under the doctrine of *Lumley v Wagner*, be restrained.

It is no longer possible to state the law with such precision. The first rule enunciated in *Doherty v Allman* can no longer be maintained. Academic writers have long doubted the principle expressed in such wide terms and the High Court has now rejected it: *Dalgety Wine Estates Pty Ltd v Rizzon* (1979) 141 CLR 552. The second rule has been departed from in England in *Hill v CA Parsons & Co Ltd* [1972] Ch 305 which was followed in *Evans Marshall & Co Ltd v Bertola SA* [1973] 1 WLR 349 at 379–80; [1973] 1 All ER 992, 1005 [347] and by the Federal Court in *Turner v A/asian Coal and Shale Employees' Federation* (1984) 6 FCR 177, 192–3 and *Gregory v Philip Morris Ltd* (1988) 80 ALR 455, 481–2.

As to the third rule, which is in question here, *Lumley v Wagner* has been much discussed. It has, with varying degrees of enthusiasm, been followed by Australian courts. This is so in New South Wales (see *Atlas Steels (Australia) Pty Ltd v Atlas Steels Ltd* (1948) 49 SR (NSW) 157; *Warner Brothers Pictures Inc v Ingolia* [1965] NSWR 988, *Harrigan v Brown* [1967] 1 NSWR 342), in Victoria (see *Buckenara v Hawthorn Football Club Ltd* [1988] VR 39, *Hawthorn Football Club Ltd v Harding* [1988] VR 49), and in England (*Warner Brothers Pictures, Inc v Nelson* [1937] 1 KB 209). The argument for the appellants that this Court should not follow *Lumley v Wagner* cannot be accepted.

Lumley v Wagner concerned a contract by which Mme Wagner, a famous German opera singer, promised to sing operatic roles for the plaintiff at Her Majesty's Theatre for a three months [sic] season. It contained a provision that she would sing nowhere else during the contract; she threatened to commit a breach of the contract by singing for a rival impresario at Covent Garden and the court restrained the breach.

The doctrine has always been said to apply to contracts for "special services". This includes contracts by opera singers (*Lumley v Wagner*), movie stars (*Warner Brothers v Nelson*), actresses (*Warner Brothers v Ingolia*), rock singers (*Harrigan v Brown*), football players (*Buckenara v Hawthorn Football*

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Club, *Hawthorn Football Club v Harding*) and newspaper production managers (*Evening Standard Co Ltd v Henderson* [1987] ICR 588). How many other occupations fit within this category can be left to the course of subsequent decisions. Learned counsel for the appellants argued that one reason why *Lumley v Wagner* should be rejected is that no satisfactory definition of "special services" can be formulated. That is true but it is also true that of many other terms of practical utility, both non-legal (for example, beauty, elegance) and legal (for example, reasonableness, unconscionability).

Lord St Leonards LC in *Lumley v Wagner* pointed out that the injunction would not compel Mme Wagner to perform her contract with Mr Lumley. Failure to sing for Mr Lumley would not be a breach of the injunction. On the other hand, on the facts in that case obedience to the injunction would not confront her with a choice between service with Mr Lumley and destitute idleness. She could employ her energies in some other occupation or perhaps return to Germany. The injunction was also of short duration. The contract was for three months from 1 April 1852. The Vice-Chancellor granted an injunction on 8 May, and the Chancellor dismissed Miss [sic] Wagner's appeal on 26 May. There was therefore no impediment to the court taking the attitude to defendants in Mme Wagner's position that "it will not suffer them to depart from their contracts at their pleasure, leaving the party with whom they have contracted to the mere chance of any damages which a jury may give. The exercise of this jurisdiction has, I believe, had a wholesome tendency towards the maintenance of … good faith" (at 619; 693). This rationale for such injunctions should be emphasised as learned counsel for the appellants at times seemed aghast at the suggestion that a court of equity should hold parties to their contracts.

In some cases an attempt to obtain an injunction based on *Lumley v* [348] *Wagner* has failed. One such decision is *Page One Records Ltd v Britton* [1968] 1 WLR 157. A group of "musicians" promised not to employ another manager during the four years of their contract with the plaintiff. The court refused to restrain the "musicians" from continuing a clear breach of this promise. However, there were significant features which distinguish it from *Lumley v Wagner* and other cases in which an injunction has been granted. The injunction sought was for four years which is a long time in this context, and it would have compelled the defendants to re-employ the plaintiff or go out of business. In *Warren v Mendy* [1989] 1 WLR 853, the Court of Appeal refused to restrain a boxer from employing a new manager, but again the decision is explicable on the facts: the injunction sought was for about two and a half years; the defendant acted in good faith, his relationship with the plaintiff broke down before he sought a new manager, a boxer has a very short career, and the trial judge had found that an injunction would compel the defendant to perform a contract for personal services. These decisions do not justify the conclusion urged on us by learned counsel for the appellants that some modern "rule" has displaced *Lumley v Wagner*.

The appellant also relied on a lack of mutuality. This however is a discretionary and not an absolute defence to proceedings such as these. As Nourse LJ said in *Warren v Mendy* (at 866; 113): "… We very much doubt whether a want of mutuality alone would now be decisive in a case of (this) kind."

We are of the view that the authorities establish that in a *Lumley v Wagner* case, an injunction will still be granted when the balance of discretionary factors is in the plaintiff's favour. In the present case, to grant the injunction sought is not to order specific performance of the service and services contracts. Miss Curro could comply with the injunctions without resuming work for Beyond. She would not be forced to choose between service with Beyond or idleness. Other employments would be open to her. There is no question of her being destitute. Damages would not be an adequate remedy.

… The injunctions do no more than oblige Miss Curro to comply with negative promises which are part of a fair and freely negotiated bargain made less than two years ago. We see no reason at all why she should not be ordered to keep her word. These considerations alone would require that any judicial discretion be exercised in its favour.

Appeal dismissed.

[30.55] **Note**

The fascinating background to *Lumley v Wagner* (1852) 1 De GM & G 604; 42 ER 687 is discussed by SM Waddams, "Johanna Wagner and the Rival Opera Houses" (2001) 117 *Law Quarterly Review* 431.

DAMAGES UNDER LORD CAIRNS' ACT

[30.60] Legislation in each Australian State and Territory empowers the court to grant damages either in addition to or instead of specific performance or an injunction. These provisions are based on English legislation known as *Lord Cairns' Act* (*Chancery Amendment Act 1858* (Imp) 21 & 22 Vict c 27). The power to grant "equitable damages" or "Lord Cairns' Act damages" is particularly important where damages are unavailable at common law (because the contract fails to comply with a statutory requirement of writing), but specific performance is unsuitable in the circumstances. Damages in lieu of specific performance were granted in *Waltons Stores (Interstate) Ltd v Maher* (1988) 164 CLR 387, extracted at [9.35].

The Victorian provision is set out following this section. Equivalent provisions are: *Supreme Court Act 1970* (NSW), s 68; *Civil Proceedings Act 2011* (Qld), s 8; *Supreme Court Act 1935* (SA), s 30; *Supreme Court Civil Procedure Act 1932* (Tas), s 11(13); *Supreme Court Act 1935* (WA), s 25(10). For the Australian Capital Territory and Northern Territory, see *Supreme Court Act 1933* (ACT), ss 26 and 27; *Supreme Court Act* (NT), ss 14(1)(b), 62 and 63 and see *Brooks v Wyatt* (1994) 99 NTR 12, 27–28.

Supreme Court Act 1986 (Vic), s 38

[30.65] *Supreme Court Act 1986* (Vic), s 38.

> 38. Damages in addition to or in place of other remedies
>
> If the Court has jurisdiction to entertain an application for an injunction or specific performance, it may award damages in addition to, or in substitution for, an injunction or specific performance.

JC Williamson v Lukey & Mulholland

[30.70] *JC Williamson Ltd v Lukey & Mulholland* (1931) 45 CLR 282 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: JC Williamson Ltd (the *defendant/appellant*), who was the lessee of a theatre, entered into an oral agreement with Lukey and Mulholland (the *plaintiffs/respondents*). It was agreed that the respondents would take over the lease of a shop near the theatre, and during the term of the lease, they would, in return for a fee paid to the appellant, have the exclusive right to sell "confectionary, ice-cream and non-intoxicating drinks" in the theatre. The other conditions were not expressly agreed, but the parties understood from their experience that:

- the appellants were required to employ a sufficient number of staff to carry around confectionary and drinks;

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- the dress, deportment and conduct of the staff would be under the control of the theatre manager;
- the appellants would be obliged to maintain an adequate supply of confectionary of the kind and quality usually sold in the theatre; and
- on compliance with these conditions, the appellants would admit the respondents and their staff into the theatre from the time it opened until a reasonable time after the last interval.

The appellant terminated the agreement before the term expired and granted exclusive "sweet rights" to another party. The respondents sought:

1. specific performance of the agreement;
2. an injunction to restrain the appellant from preventing the plaintiffs from exercising the right to sell sweets;
3. an injunction to prevent the appellant from granting exclusive rights to the other party; or
4. damages.

The trial judge, Lowe J, found that the contract was "an agreement that is not to be performed within the space of one year" which was unenforceable under s 128 of the *Instruments Act 1928* (Vic) in the absence of a note or memorandum in writing. Since there was part performance of the agreement, however, Lowe J awarded damages in lieu of an injunction under s 62(4) of the *Supreme Court Act 1928* (the applicable Lord Cairns' Act provision). An appeal to the High Court was successful.]

STARKE J: [291] It is clear enough, in the case of some oral contracts, that if they be partly performed by one of the parties, that may in equity preclude the other from denying the contract or relying upon the *Statute of Frauds*, and Lowe J held that this doctrine applied to all contracts in which a Court of equity would entertain a suit if the alleged contract had been in writing (*Donnell v Bennett* [1883] 22 Ch D 835; *Metropolitan Electric Supply Co v Ginder* [1901] 2 Ch 799, 808; *Fry on Specific Performance*, 6th ed, p 283, s 593). This proposition goes beyond any decided case (see *McManus v Cooke* [1887] 35 Ch D 681), but, as Fry J said, the authorities are tending in that direction. However, I accept the proposition for the purposes of this case. Would then a Court of equity have entertained a suit upon the agreement found by the learned Judge? Courts of equity have, no doubt, exercised jurisdiction to enforce contracts specifically and to restrain the breach of contracts which such a Court would specifically enforce and to restrain the breach of negative stipulations in contracts whether in the particular case the Court would or would not specifically enforce the whole contract (*Doherty v Allman* [1878] 3 AC 709; *McEacharn v Colton* [1902] AC 104; *Lumley v Wagner* (1852) 1 De GM & G 604; 42 ER 687; *Whitwood Chemical Co v Hardman* [1891] 2 Ch 416; *Manchester Ship Canal Co v Manchester Racecourse Co* [1901] 2 Ch 37). But over and over again it is asserted in the books that a Court of equity will not compel one party to perform his part of a contract unless justice can be done as regards the other party (*Kernot v Potter* (1862) 3 De GF & J 447; 45 ER 951; *Stocker v Wedderburn* (1857) 3 K & J 393; 69 ER 1162; *Frith v Frith* [1906] AC 254). Nor will it as a rule enforce [293] contracts of personal service or any other contract the execution whereof would require continued superintendence by the Court (*Ryan v Mutual Tontine Westminster Chambers Association* [1893] 1 Ch 116; *Mutual Reserve Fund Life Association v New York Life Insurance Co* (1896) 75 LT 528; *South Wales Railway Co v Wythes* (1854) 5 De GM & G 880; 43 ER 1112).

The enforcement of the stipulations in the agreement found in the present case relating to the lease do not call for consideration: they have been carried out. The "sweet rights" stipulated for in the agreement are, therefore, all that need be considered. I pass by possible vagueness of the agreement in relation to these rights: how far the parties stipulated, if at all, for the control of such rights by the appellant. And I assume that it would have been enforceable by law if it, or a note or memorandum thereof, had been in writing. It is clear that the *Statute of Frauds* is a complete answer at law to any action for damages arising from breach of the agreement. Again, it is clear, on the principles already referred to, that no Court of equity would have enforced, specifically or by way of injunction, the right of the respondents to sell sweets in the theatre. Nor would any such Court have enforced the right of the appellant to supervise and control the right of selling sweets in the theatre.

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The enforcement of either right would have required a continued and effective superintendence of acts and services which would be impossible for any Court. So we limit our consideration to the stipulation that the respondents should have the exclusive right to sell sweets in the theatre. This positive stipulation imports the negative that no other person should be allowed the right of selling sweets in the theatre. Indeed, the substance of the stipulation is that no other person should be allowed to sell sweets in the theatre: *Wolverhampton and Walsall Railway Co v London and North-Western Railway Co* (1873) 16 Eq 433; *Manchester Ship Canal Co v Manchester Racecourse Co* [1901] 2 Ch 37; *Metropolitan Electric Supply Co Ltd v Ginder* [1901] 2 Ch 799). Lowe J concluded that a Court of equity had authority to and would enforce such a stipulation, though it would not or could not otherwise enforce the agreement, specifically or by means of [294] an injunction. But it is just at this point that I am unable to agree with the learned Judge. His view really means that one stipulation of the sweets agreement can be enforced whilst every other stipulation is unenforceable, both at law and in equity. If parts of an agreement are separable and distinct from the rest, I can understand that a Court of equity might in a proper case enforce those parts and leave the parties to their remedies at law as to the rest of the agreement, especially where those remedies would be adequate and just. But it is contrary to all equitable principles to enforce part of an agreement and leave the parties without any remedy whatever as to all other obligations of that agreement. It would result substantially in very different legal obligations, and great injustice to both parties. In the present case the respondents would have no redress if the appellant refused to allow them to sell sweets in the theatre, and the appellant could not recover the charges payable in respect of the sweet rights or have any redress if the respondents violated its directions as to the dress, deportment and behaviour of their employees. Indeed, I dissent entirely from the notion that this agreement can be divided into two parts, one enforceable and the other wholly unenforceable. Consequently, in my opinion, a Court of equity would, in the case before us, have had no jurisdiction or authority whatever to enforce the stipulation giving the respondents the exclusive right of selling sweets in the theatre by restraining the appellant from permitting or allowing any other person to sell them. The *Supreme Court Act 1928*, s 62(4) (Lord Cairns' Act), gives power to the Court to award damages to a party injured in addition to or in substitution for an injunction restraining the breach of a contract. But under this section the respondents must make out that they are entitled to an equitable remedy before they can get damages (*Elmore v Pirrie* (1887) 57 LT 533). And damages at law for breach of the agreement they cannot have by reason of the *Statute of Frauds*. The result is that the judgment ought to be reversed, though I sympathize with the learned Judge in his anxiety to give legal effect to what, at least, was an honourable understanding between the parties, especially when its violation involved serious loss to the respondents.

[30.75] DIXON J: [295] By s 62(4) of the *Supreme Court Act 1928* (Vic) it is enacted that in all cases in which the court entertains an application for an injunction against a breach of any covenant, contract or agreement, or against the commission or continuance of any wrongful act, or for the specific performance of any covenant, contract or agreement, the court may, if it thinks fit, award damages to the party injured either in addition to or in substitution for such injunction or specific performance, and such damages may be assessed in such manner as the court directs … That power is confined to cases in which there is a title to equitable relief, cases in which there are the ingredients that enable the court, if it thought fit, to exercise its power of decreeing specific performance or of granting an injunction: *Ferguson v Wilson* [1866] 2 Ch App 77.

By the judgment under appeal Lowe J exercised the authority given by the enactment and awarded damages in lieu of an injunction for breach of an agreement. He held, rightly, I think, that the agreement in question was one that was not to be performed within the space of one year from the making thereof, but, notwithstanding [296] that the agreement was not in writing and there was no memorandum or note thereof, he considered that it might be enforced by injunction, because the plaintiff had acted in part performance of the agreement.

The question upon this appeal is whether an injunction might have been granted to enforce the agreement upon the ground of part performance. The defendant company, against which damages

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have been awarded in substitution for an injunction, was the lessee of a theatre where it conducted dramatic entertainments. Its directors were able to control the letting of a shop nearby in which confectionery was sold. The company entered into an oral agreement with the plaintiffs that, if they should take over an existing lease of this shop and take an extension of the lease for five years, the plaintiffs, during the term so extended in consideration of a weekly payment of £14 during the performance of musical comedy and of £12 during other performances, should have an exclusive right to sell confectionery, ice cream and non-intoxicating drinks to members of the audience in the theatre. The conditions involved were not discussed, but they seem to have been understood by the parties, who were experienced in such matters and were aware of the manner in which the sale of confectionery had been conducted in the theatre. It appears from the evidence that implied in the agreement were terms to the effect that the plaintiffs should have a movable stand and showcase near the entrance to the stalls and another at the dress circle; that they should employ a sufficient number of boys to carry round supplies of confectionery and drinks in the gallery; that the boys should be appropriately and uniformly clad in a manner approved by the manager of the theatre; that their conduct and deportment should be under the control of the manager of the theatre; that the plaintiffs should maintain a sufficient supply of a kind and quality of confectionery usually sold in the different parts of such a theatre, and that upon compliance with these conditions the plaintiffs and their servants should be admitted to the theatre and its precincts from the time when the theatre opened for a performance until a reasonable time after the last interval. A variation of the agreement was afterwards made by which the plaintiffs were allowed to put boys in the dress circle and stalls as well as in the gallery. It was also agreed that the boys [297] employed by the plaintiffs should be clothed in a particular uniform.

The plaintiffs entered upon the performance of the agreement, and by their servants, sold confectionery from the stands and showcases and in the auditory, and they duly made the weekly payments. But before the term of the agreement expired the company purported to bring it to an end, contending that no fixed period had been agreed upon, and so renounced the contract.

An action of damages could not but fail, because, when a common law remedy is sought, part performance never did and does not now afford an answer to the *Statute of Frauds*. Equitable relief is obtainable, notwithstanding the *Statute of Frauds*, by a party who in pursuance of his contract has done acts of performance consistent only with some such contract subsisting, but, if the doctrine is not confined to cases in which a decree might be made for the specific performance of the contract, it is at least true that the doctrine arose in the administration of that relief and has not been resorted to except for that purpose. It must be remembered that, although the remedy of specific performance is commonly applied in aid of a legal right, it extends to cases where, for one reason or another, there is no remedy at law, as well as to cases where the remedy at law is inadequate. See *Fry on Specific Performance* (6th ed), ss 49–60. But it is evident from a mere statement of the nature of the agreement in this case that it falls outside the scope of the remedy of specific performance. The parties meant their oral contract to be a final expression of obligation for the regulation of their future relations. It was not an agreement preliminary to a further transaction which, when carried out, should define their relative positions. Unlike a contract to assure property, it did not require the parties to adopt a formal instrument or to do some act in the law which should thereafter afford the measure of their rights and duties. Specific performance, in the proper sense, is a remedy to compel the execution in specie of a contract which requires some definite thing to be done before the transaction is complete and the parties' rights are settled and defined in the manner intended. Moreover, the remedy is not available unless complete relief can be given, and the contract carried into full and final execution so that the parties are put in the relation contemplated by their agreement. Specific performance is inapplicable when the [298] continued supervision of the court is necessary in order to ensure the fulfilment of the contract. It is not a form of relief which can be granted if the contract involves the performance by one party of services to the other or requires their continual co-operation. The doctrine of the Court of Chancery was against decreeing one party to perform specifically obligations which the contract imposed upon him, if it was unable to secure to him the performance by the other

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contracting party of the conditions upon which those obligations depended, and could only leave him to his action of damages at law in the event of the conditions being unperformed.

In the present case the condition of the contract which entitles the plaintiffs and their servants to admission for the purpose of selling confectionery in the theatre is concurrent with the conditions governing the time, place and manner of supply, the character of the goods supplied, and the appearance, dress and behaviour of their servants. It would be contrary to principle to bind the company by a decree to perform its obligations leaving it only a remedy sounding in damages in the event of a breach by the plaintiffs of the conditions to be observed by them. It would be equally contrary to principle for the court to undertake the supervision of the specific fulfilment of these conditions. It, therefore, could not be contended that a decree of specific performance might be made, and it was recognised that if the plaintiffs are entitled to any equitable remedy, it must be by way of injunction. But the reason why specific performance of the contract could not be decreed ought not to be forgotten in considering whether an injunction might be granted upon the ground of part performance. An injunction is a remedy appropriate to restrain the violation of a provision or term of a contract which is the final expression of the parties' legal relations. But, in granting an injunction for this purpose, the courts of equity acted in aid of a legal right. Before *Sir John Rolt's Act* (25 & 26 Vict c 42) a perpetual injunction was not granted restraining breaches of such an agreement until the right had been tried at law. The remedy of injunction was, of course, appropriate to and was and is freely used for the protection of equitable interests and rights, but in matters of contract, as in matters of tort, it does not appear to have been used except in aid of a legal right unless in a case falling within the [299] scope of the remedy of specific performance, for example, *McManus v Cooke* (1887) 35 Ch D 681 … If, however, a clear legal duty is imposed by contract to refrain from some act, then, prima facie, an injunction should go to restrain the doing of that act. It appears to be of little importance now whether the duty is imposed by a term of the contract expressed in negative or affirmative language.

It is said that the agreement in this case imposed upon the company a duty not to revoke, during the term contracted for, the licence to the plaintiffs to go into the theatre to sell confectionery, and, during the term, to admit to the theatre no one else for the purpose of selling confectionery. To grant an injunction restraining the defendants from doing either of these things may appear an indirect way of compelling specific performance of the company's part of the agreement. Probably the true rule is that an injunction should not be granted which compels, in substance, the defendant to perform his side of the agreement when the continuance of his obligation to do so depends upon the future conduct of the plaintiff in observing conditions to be fulfilled by him. If the contract is one the execution of which the court cannot superintend, it does not seem to be in accordance with principle to bind one party to performance in specie leaving him to a remedy in damages only if the other fails to fulfil the conditions on his side to be observed. But, perhaps, if a clear and [300] negative duty is imposed even by such a contract, an injunction may be granted when the remedy at law is inadequate to the right, at least when, by dissolving the injunction in the event of the plaintiff's own subsequent breach of condition, the parties may be restored to the relative position they occupied before suit. But, assuming the agreement between the parties in this case should be interpreted in a way which would give rise to a negative duty of the required character either not to revoke the licence or not to admit a stranger to sell confectionery, yet that duty is not enforceable at law because the contract is not evidenced by writing. Thus no injunction can be granted in aid of a legal right to enforce the duty, and the injunction must be founded upon an equitable title to its performance.

The agreement gives no equitable interest, and the equity must arise, if at all, from part performance. Moreover, it must not be forgotten that, by reason of the *Statute of Frauds*, the conditions of the contract to be observed on the part of the plaintiffs may be broken by them with impunity; for not even an action for damages upon the contract could lie at the suit of the company. The plaintiffs must, therefore, rely upon acts of part performance to give them an equity to the independent enforcement

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of the negative duty incurred by the company, although the remainder of the contract is entirely unenforceable on either side both at law and in equity.

In cases of specific performance, the party is said to be charged upon the equities arising out of the acts of part performance and not merely upon the contract. The acts of part performance must be such as to be consistent only with the existence of a contract between the parties, and to have been done in actual performance of that which in fact existed. But in such a case the equity which so arises is to have the entire contract carried into execution by both sides. Because the acts done upon the faith of the contract could not have taken place if it had not been made, and the contract is of a kind, which it is considered equitable to enforce in specie, a party who has so acted in partial execution of the contract obtains an equity to its complete performance. But in a case like the present which, because of the nature of the agreement, lies outside the scope of the remedy of specific performance, no equity [301] can arise to have the contract carried into complete execution. No equity could be set up save to have a distinct negative duty separately enforced. It may well be that such an equity can never be found in agreement unless the agreement gives rise to an enforceable legal right. But, if it conceivably may arise from acts of part performance, those acts must be of such a nature as to make it right to enforce the negative duty separately, and they must do more than give rise to considerations in favour of requiring performance in specie of the entire contract. Acts which merely argue the existence of a contract which is outside the scope of equitable remedies cannot suffice. When breach of a negative stipulation is enjoined, that term of the contract is enforced irrespective of the remaining provisions. The equity to its enforcement is found in the nature of the negative stipulation itself considered as a separate obligation. If the party against whom an injunction is sought is to be charged not merely upon the negative contract, but upon the equities arising out of acts of part performance, surely to give rise to the equities the acts of part performance relied upon must directly relate to the negative duty. It may perhaps be true that, because of the negative character of the obligations to which an injunction is appropriate, acts of part performance can seldom, if ever, directly relate to such obligations. This may be the reason why no case has been found in which acts of part performance have been relied upon as affording a title to an injunction restraining breach of a negative agreement. But, however this may be, in this case there are no acts of part performance which are referable unequivocally to the existence of anything more than some contract enabling the plaintiffs to sell confectionery and the like in the theatre. There are no acts which directly relate to the existence of a duty not to revoke the licence, or of a duty not to admit a stranger to sell confectionery. It is, therefore, unnecessary to decide whether in such a case as the present anything but a legal right enforceable at law will support the injunction. It is enough to say that no acts of part performance have taken place from which a negative equitable obligation arises.

For these reasons I am of opinion that the case was not one in which the court would entertain an application for an injunction, and that the judgment should be reversed.

[30.80] EVATT J: [308] I do not deem it necessary, however, to express a concluding opinion as to whether the remedy of injunction could have been obtained by the plaintiffs in the action, because I hold that the doctrine of part performance does not apply to cases where the only equitable remedy available is that of injunction, and the court refuses to enforce the contract as a whole …

[309] The justification for intervention by the Court of Chancery was, indeed, the vital necessity, in the interests of justice, of ordering completion of an agreement which had been performed by one part to such an extent that a substantial alteration of position had resulted …

[310] But in the case of an application to a court of equity for the prevention of the breach of some particular negative stipulation of a contract, the jurisdiction exercised expressly disclaims the right of acting in personam so as to secure completion. And the justification for the application of the doctrine of part performance ceases to exist if only a part of the contract within the statute is enforced. The very name of the doctrine – *"part performance"* – indicates that the object is always to

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enlarge part performance into complete performance. If a negative stipulation in an agreement within s 4 of the statute were of itself and by itself enforceable in equity, the result would be the procuring of an injunction by one party whilst the defendant in equity would not only ex concessis be unable there to enforce the rest of the agreement but would be unable because of the statute to enforce his rights at law …

[GAVAN DUFFY CJ agreed with the judgment of Dixon J. MCTIERNAN J delivered a judgment in which he reached the same result.]

VITIATING FACTORS: MISINFORMATION

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CHAPTER ***31***

Mistake

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OVERVIEW

[31.05] People often enter into contracts under the influence of some mistake relating to the contract. If the mistake in question has been positively induced by the other party to the contract, the mistaken party may very well successfully claim some form of relief on the basis of misrepresentation or misleading conduct: see Chapters 32 and 33. This chapter is generally not concerned with such mistakes but rather with mistakes that are self-induced or spontaneous. Mistakes of this kind are much less likely to afford mistaken parties a remedy. Equity has been more accommodating than the common law in this respect. The scope for equitable intervention in cases of mistake may now be broader in Australia than in England (cf *Great Peace Shipping Ltd v Tsavliris Salvage (International) Ltd (The Great Peace)* [2002] EWCA Civ 1407; [2003] QB 679, extracted at [31.65] with *Taylor v Johnson* (1983) 151 CLR 422, extracted at [31.150]).

Some terminology: types of mistakes

[31.08] For the purpose of determining the law's likely response to mistake, it is useful to distinguish two categories of case.

1. Those where the parties are *in agreement* but both erroneously assume some matter to be true. There is a common mistake as to this matter (although such mistakes are sometimes less accurately described as *mutual*).
2. Those where the parties are so much at cross purposes that it can be said that, subjectively speaking, they are *not in agreement*, for example, they intend to contract on different terms. One party, A, may promise to pay $200 per month, whereas the other party, B, believes the promise is to pay $200 per week. The parties have misunderstood one another. The mistake in such a case is described as *mutual*. However, if the understanding of one of the parties accords with what a reasonable person would think was intended (ie, if one person is right and the other is wrong on an objective interpretation), the mistake can be described as *unilateral*.

How should the law respond to mistake

[31.10] There are two quite different theories about whether common law contract doctrines should offer relief against mistake: the constructionist and the civilian.

Under the constructionist theory, the law provides no relief against mistake. Problems of mistake are solved not by reference to a separate doctrine but by applying the rules of contract law relating to formation of contract and construction or interpretation of terms (*McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377). The application of these rules may result in a finding that no contract was formed or that a contract was formed but that the parties are released from the contract because of failure of a condition. *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377, extracted at [31.35], provides an example of a case resolved on a constructionist basis.

The civilian theory, deriving from Roman law, presents a distinct doctrine of mistake which is influenced by the notion of *consensus*. On this view, a fundamental error destroys the consensus ad idem which is essential to contract and a finding that the contract is rendered void by the mistake can be justified on this basis (see eg, *Solle v Butcher* [1950] 1 KB 671, extracted at [31.60]). This requires a court to identify the substance of the contract and to determine whether the mistake relates to that substance or merely some collateral matter, such as quality or attributes. *Bell v Lever Brothers Ltd* [1932] AC 161, extracted at [31.50], demonstrates the influence of civilian theory on common law principles.

Equity

[31.15] If the constructionist approach suggests that a party labouring under a mistake is bound by the obligation, and the limited circumstances in which the common law holds contracts void for mistake do not apply, the contract may nevertheless be voidable in equity because of the mistake. Equity's jurisdiction to set aside contracts on the basis of mistake allows it to fulfil its broader role of ensuring that the enforcement of common law rights is not unconscionable (see MacMillan, *Mistakes in Contract Law* (2010), Ch 3). The tendency of the courts has been to narrow the operation of the common law and deal with problems of mistake by using equitable principles. In England, this trend may be reversing: see *Great*

Peace Shipping Ltd v Tsavliris Salvage (International) Ltd (The Great Peace) [2003] EWCA Civ 1407; [2003] QB 679, extracted at [31.65].

Unlike the common law, equity treats a contract affected by operative mistake as *voidable* rather than void ab initio. In order for the contract to be set aside, it must be possible to restore the parties substantially to the positions they were in before the contract was made. A contract may be rescinded *on terms* which aim at achieving fairness between the parties. (For a detailed examination of rescission, see Chapter 39.)

Remedy: rescission or rectification

[31.20] A mistaken party who wishes to avoid a contract entered into under a mistake may claim that the contract is void at common law or, in the alternative, can be set aside or "rescinded" in equity. Rescission is not the only form of relief available in equity. Equity can refuse to grant specific performance on the ground of mistake or grant specific performance on terms. Also, as we will see in this chapter, the remedy of rectification is available in respect of agreements which have been mistakenly recorded. Rescission and rectification are entirely different remedies. In the case of the former, the court sets aside the contract and restores the parties to their original positions. In the latter case, the court amends the contract to reflect the parties' actual agreement. The fact that a rectification order keeps a contract on foot might justify the application of a less demanding test in cases of rectification vis-á-vis rescission.

COMMON MISTAKE

[31.25] This group of cases (following) is concerned with the situation where the parties have reached consensus ad idem but have made the same false assumption in respect of a fundamental matter, such as the very existence of the subject matter or an important quality of the subject matter. Less commonly, the parties may also have made a mistake about the terms of the contract. The question is whether such a contract should stand; or whether it is void (or voidable) for mistake.

Common law: the constructionist approach

[31.30] There are two ways of dealing with common mistake at common law. The first involves construing the contract, in accordance with ordinary principles of contractual interpretation, to determine where the risk of the mistake lies. The second involves a principle of law which recognises that the contract may be void for common mistake in certain circumstances. Although the High Court has expressed a preference for the former, it has not ruled out the possibility that the Australian common law includes a doctrine that, in limited circumstances, renders contracts void on the basis of common mistake.

The constructionist approach may release a mistaken party from a contract if, through the application of ordinary contractual principles, the contract is void or brought to an end. Any relief that is provided to a mistaken party is incidental to the findings that flow from the application of ordinary contract law principles. Consider the following example. A contracts to sell B his art collection, presently housed overseas. Both the parties assume the art collection is in existence, but in fact it has recently perished in a fire. On a constructionist approach there are several different ways of interpreting this problem. One interpretation is that *A has promised* that the art collection exists, that is, he has taken the risk that the art collection may no longer exist. If this is the correct interpretation then there is a valid contract, and A is

liable to B for breach of his promise. A second interpretation is that *B took the risk* that the art collection may have perished, that is, she promised to pay for the chance that the collection was extant. If this is the correct interpretation, once again there is a valid contract, and B is liable for breach if she does not pay. There is one final constructionist device that may relieve the parties of their obligations. The court may find that the contract is subject to an *implied condition* in the contract that the collection is extant. If that implied condition precedent ceases to be met (because the collection has been destroyed) both parties are released from their contractual obligations.

McRae v Commonwealth Disposals Commission

[31.35] *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377 (High Court of Australia) – Appeal from Webb J.

[FACTS: The Commonwealth Disposals Commission (the *Commission*), which was authorised to make contracts on behalf of the Commonwealth, invited tenders "for the purchase of an oil tanker lying on Jourmaund Reef, which is approximately 100 miles north of Samarai. The vessel is said to contain oil". The *plaintiffs*, who were brothers trading in partnership, submitted a tender of £285. They were notified by letter that this tender had been accepted and that a "sales advice note to cover this transaction" would be forwarded. A few days later, the plaintiffs received the note. It described the subject of the sale as: "One (1) Oil Tanker including contents wrecked on Jourmaund Reef approximately 100 miles north of Samarai. Price £285."

The plaintiffs were unable to locate Jourmaund Reef on a map and so they asked the Commissioner to give them the precise latitude and longitude of the tanker. This was duly given to them as being: "Latitude 11 degrees 16 1/2 minutes South: Longitude 151 degrees 58 minutes East."

In point of fact, there was no oil tanker lying anywhere near this location, although there was a wrecked barge at a point about 11 miles east of the location specified. The officers of the Commission had made a "reckless and irresponsible" mistake in thinking they had a tanker to sell. They had relied on mere gossip. The plaintiffs however had no reason to suspect this. They incurred considerable expense in fitting out a salvage expedition, only to discover that they had purchased a non-existent tanker.

The plaintiffs commenced an action claiming damages against the Commission. They based their claim on three alternative grounds. First, they claimed damages for breach of a contract to sell a tanker lying at the place specified. Secondly, they claimed damages for a fraudulent representation that there was a tanker lying at the place specified. Finally, they claimed damages for a negligent failure to disclose that there was no tanker at the place specified after that fact became known to the Commissioner.

At the trial of the action, Webb J held that the contract for the sale of the tanker was void and therefore could not give rise to a claim for damages for breach. He based his decision on this aspect of the case on *Couturier v Hastie* (1852) 8 Ex 40; 155 ER 1250; (1853) 9 Ex 102; 156 ER 43; (1856) 5 HLC 673; 10 ER 1065. His Honour held, however, that the plaintiffs had made out their claim in deceit and awarded £756 10s damages. This did not include any sum in respect of the salvage expedition, which his Honour held to be too remote a consequence of the deceit. The plaintiffs appealed to the Full Court.]

DIXON AND FULLAGAR JJ: [402] The first question to be determined is whether a contract was made between the plaintiffs and the Commission. The argument that the contract was void, or, in other words, that there was no contract, was based, as has been observed, on *Couturier v Hastie*. It is true that *Couturier v Hastie* has been commonly treated in the textbooks as a case of a contract avoided by mutual mistake, and it is found cited in the company of such cases as *Gompertz v Bartlett* (1853) 2 El & Bl 849; 118 ER 985, and *Strickland v Turner* (1852) 7 Ex 208; 155 ER 919. Section 7 of the English *Sale of Goods Act* 1893, is generally regarded as expressing the effect of the case. The case

McRae v Commonwealth Disposals Commission cont.

has not, however, been universally regarded as resting on mistake, and Sir Frederick Pollock, in his preface to Vol 101 of the Revised Reports, p vi, says: "*Couturier v Hastie* shows how a large proportion of the cases which swell the rubric of relief against mistake in the textbooks (with or without protest from the text writer) are really cases of construction."

And in *Solle v Butcher* [1950] 1 KB 691, Denning LJ observed that the cases which it had been usual to classify under the head of "mistake" needed reconsideration since the decision of the House of Lords in *Bell v Lever Bros Ltd* [1932] AC 161. No occasion seems to have arisen for a close examination of *Couturier v Hastie* but such an occasion does now arise.

The facts of the case were simple enough. A question of del credere agency was involved, which has no relevance to the present case, and the facts may be stated without reference to that question. A sold to B: "1 180 quarters of Salonica Indian corn of fair average quality when shipped, at 27/- per quarter fob, and including freight and insurance, to a safe port in the United Kingdom, payment [403] at two months from date upon handing over shipping documents."

At the date of the contract, the vessel containing the corn had sailed from Salonica, but, having encountered very heavy weather, had put in at Tunis. Here the cargo had been found to have become so heated and fermented that it could not be safely carried further. It had accordingly been landed at Tunis and sold there. These facts were unknown to either party at the date of the contract. On discovering them, B repudiated the contract. After the expiration of the two months mentioned in the contract, A, being able and willing to hand over the shipping documents, sued B for the price. The case came on for trial before Martin B and a jury. Martin B directed the jury that "the contract imported that, at the time of the sale, the corn was in existence as such, and capable of delivery": (1852) 8 Ex 47; 155 ER 1253 at 1254. The jury found a verdict for the defendant, and the plaintiff had leave to move. The Court of Exchequer (Parke B and Alderson B, Pollock CB dissenting) made absolute a rule to enter a verdict for the plaintiff. This decision was reversed in the Court of Exchequer Chamber, and the House of Lords, after consulting the judges, affirmed the decision of the Exchequer Chamber, so that the defendant ultimately had judgment.

In considering *Couturier v Hastie*, it is necessary to remember that it was, in substance, a case in which a vendor was suing for the price of goods which he was unable to deliver. If there had been nothing more in the case, it would probably never have been reported: indeed the action would probably never have been brought. But the vendor founded his claim on the provision for "payment upon handing over shipping documents". He was not called upon to prove a tender of the documents, because the defendant had "repudiated" the contract, but he was able and willing to hand them over, and his argument was, in effect that by handing them over he would be doing all that the contract required of him. The question thus raised would seem to depend entirely on the construction of the contract, and it appears really to have been so treated throughout.

[Their Honours then examined the judgments in *Couturier v Hastie*:] [405] In *Bell v Lever Bros Ltd* at 218–22, Lord Atkin, though he does not mention *Couturier v Hastie* itself, discusses *Gompertz v Bartlett* and *Gurney v Womersley* (1854) 4 El & Bl 133; 119 ER 51, and other cases which have sometimes been regarded as turning on mistake avoiding a contract ab initio, and His Lordship concludes the discussion with a very important observation. He says (at 222):

> In these cases I am inclined to think that the true analysis is that there is a contract, but that the one party is not able to supply the very thing, whether goods or services, that the other party contracted to take; and therefore [406] the contract is unenforceable by the one if executory, while, if executed, the other can recover back money paid on the ground of failure of the consideration …

The observation of Lord Atkin in *Bell v Lever Bros Ltd* at 222 seems entirely appropriate to *Couturier v Hastie*. In that case there was a failure of consideration, and the purchaser was not bound to pay the price; if he had paid it before the truth was discovered, he could have recovered it back as money had and received. The construction of the contract was the vital thing in the case because, and only

McRae v Commonwealth Disposals Commission cont.

because, on the construction of the contract depended the question whether the consideration had really failed, the vendor maintaining that, since he was able to hand over the shipping documents, it had not failed. The truth is that the question whether the contract was void, or the vendor excused from performance by reason of the non-existence of the [407] supposed subject matter, did not arise in *Couturier v Hastie*. It would have arisen if the purchaser had suffered loss through non-delivery of the corn and had sued the vendor for damages. If it had so arisen, we think that the real question would have been whether the contract was subject to an implied condition precedent that the goods were in existence. Prima facie, one would think, there would be no such implied condition precedent, the position being simply that the vendor *promised* that the goods *were* in existence … So in *Barr v Gibson* (1838) 3 M & W 390; 150 ER 1196, where the contract was for the sale of a ship, Parke B said (at 400; 1201): "And therefore the sale in this case of a ship implies a contract that the subject of transfer did exist in the character of a ship."

It should be noted in this connection that in *Solle v Butcher* at 691, 692 Denning LJ said that the doctrine of French law, as enunciated by Pothier, is no part of English law. His Lordship was without doubt thinking of the passage quoted from Pothier in a note to the report of the argument in the House of Lords in *Couturier v Hastie* (1856) 5 HLC 673 at 678; 10 ER 1065 at 1067, 1068. Although we would not be prepared to assent to everything that is said by Denning LJ in the course of this judgment, we respectfully agree with this observation. When once the common law had made up its mind that a promise supported by consideration ought to be performed, it was inevitable that the theorisings of the civilians about "mistake" should mean little or nothing to it. On the other hand, the question whether a promisor was excused from performance by existing or supervening impossibility without fault on his part was a practical everyday question of which the common law has been vividly conscious, as witness *Taylor v Caldwell* (1863) 3 B & S 826; 122 ER 309, with its innumerable (if sometimes dubious) successors. But here too the common law has generally been true to its theory of simple contract, and it has always regarded the fundamental question as being: "What did the promisor really promise?" Did he promise to perform his part at all events, or only subject to the [408] mutually contemplated original or continued existence of a particular subject matter? So questions of intention or "presumed intention" arise, and these must be determined in the light of the words used by the parties and reasonable inferences from all the surrounding circumstances. That the problem is fundamentally one of construction is shown clearly by *Clifford v Watts* (1870) LR 5 CP 577.

If the view so far indicated be correct, as we believe it to be, it seems clear that the case of *Couturier v Hastie* does not compel one to say that the contract in the present case was void. But, even if the view that *Couturier v Hastie* was a case of a void contract be correct, we would still think that it could not govern the present case. Denning LJ indeed says in *Solle v Butcher* (at 692): "Neither party can rely on his own mistake to say it was a nullity from the beginning, no matter that it was a mistake which to his mind was fundamental, and no matter that the other party knew he was under a mistake. A fortiori if the other party did not know of the mistake, but shared it."

But, even if this be not wholly and strictly correct, yet at least it must be true to say that a party cannot rely on mutual mistake where the mistake consists of a belief which is, on the one hand, entertained by him without any reasonable ground, and, on the other hand, deliberately induced by him in the mind of the other party …

[409] But, even if [the officers of the Commission] be credited with a real belief in the existence of a tanker, they were guilty of the grossest negligence. It is impossible to say that they had any reasonable ground for such a belief. Having no reasonable grounds for such a belief, they asserted by their advertisement to the world at large, and by their later specification of locality to the plaintiffs, that they had a tanker to sell. They must have known that any tenderer would rely implicitly on their assertion of the existence of a tanker, and they must have known that the plaintiffs would rely implicitly on their later assertion of the existence of a tanker in the latitude and longitude given. They took no steps to verify what they were asserting, and any "mistake" that existed was induced by their own culpable conduct. In these circumstances it seems out of the question that they should be able

McRae v Commonwealth Disposals Commission cont.

to assert that no contract was concluded. It is not unfair or inaccurate to say that the only "mistake" the plaintiffs made was that they believed what the Commission told them.

The position so far, then, may be summed up as follows. It was not decided in *Couturier v Hastie* that the contract in that case was void. The question whether it was void or not did not arise. If it had arisen, as in an action by the purchaser for damages, it would have turned on the ulterior question whether the contract was subject to an implied condition precedent. Whatever might then have been held on the facts of *Couturier v Hastie* it is impossible in this case to imply any such term. The terms of the contract and the surrounding circumstances clearly exclude any such implication. The buyers relied upon, and acted upon, the assertion of the seller that there was a tanker in existence. It is not a case in which the parties can be seen to have proceeded on the basis of a common assumption of fact so as to justify the conclusion that the correctness of the assumption was intended by both parties to be a condition precedent to the creation of contractual obligations. The officers of the Commission made an assumption, but the plaintiffs did not make an assumption in the same sense. They knew nothing except what the Commission had told them. If they had been asked, they would certainly not have said: "Of course, if there is no tanker, there is no contract." They would have said: "We shall have to go and take possession of the tanker. We simply accept the [410] Commission's assurance that there is a tanker and the Commission's promise to give us that tanker." The only proper construction of the contract is that it included a promise by the Commission that there was a tanker in the position specified. The Commission contracted that there was a tanker there …

If, on the other hand, the case of *Couturier v Hastie* and this case ought to be treated as cases raising a question of "mistake", then the Commission cannot in this case rely on any mistake as avoiding the contract, because any mistake was induced by the serious fault of their own servants, who asserted the existence of a tanker recklessly and without any reasonable ground. There *was* a contract, and the Commission contracted that a tanker existed in the position specified. Since there was no such tanker, there has been a breach of contract, and the plaintiffs are entitled to damages for that breach.

Before proceeding to consider the measure of damages, one other matter should be briefly mentioned. The contract was made in Melbourne, and it would seem that its proper law is Victorian law. Section 11 of the Victorian *Goods Act 1928* corresponds to s 6 of the English *Sale of Goods Act 1893*, and provides: "where there is a contract for the sale of specific goods, and the goods without the knowledge of the seller have perished at the time when the contract is made the contract is void."

This has been generally supposed to represent the legislature's view of the effect of *Couturier v Hastie*. Whether it correctly represents the effect of the decision in that case or not, it seems clear that the section has no application to the facts of the present case. Here the goods never existed, and the seller ought to have known that they did not exist.

The conclusion that there was an enforceable contract makes it unnecessary to consider the other two causes of action raised by the plaintiffs. As to each of these, the plaintiffs would have been, to say the least, faced with serious obstacles ….

[McTiernan J concurred in the conclusions reached by Dixon and Fullagar JJ.]

Appeal allowed and judgment for £3,285 entered for the plaintiff.

Common law response: does the common law provide relief against common mistake?

[31.45] If the constructionist analysis suggests that a contract remains on foot, it is then necessary to consider whether either the common law or equity might provide relief on the basis of the mistake. We will consider the common law first.

In *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377, the High Court displayed a definite preference for resolving issues of mistake on a constructionist basis by looking at what the promisor really promised. The court did not, however, rule out the possibility that the Australian common law includes a principle rendering contracts void for common mistake. In *Bell v Lever Brothers Ltd* [1932] AC 161, Lord Atkin found that the common law provided relief in limited circumstances.

Bell v Lever Brothers

[31.50] *Bell v Lever Brothers Ltd* [1932] AC 161 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: *Lever Bros Ltd* held more than 99 per cent of the share capital of Niger Co Ltd. It appointed *Bell* to be the managing director of the latter company for five years at an annual salary of £8,000. Three years later the Niger Co Ltd was amalgamated with another company and it became necessary to terminate Bell's contract. Lever Bros Ltd agreed to pay him £30,000 as compensation for loss of his employment. After this money had been paid over, it was discovered that Bell had committed several breaches of duty that would have entitled Lever Bros Ltd to have dismissed him without any compensation. Lever Bros Ltd commenced an action against Bell in which it claimed, inter alia, that the compensation agreement was void for mistake and hence that it was entitled to recover the money it had paid over. Lever Bros Ltd was successful in the lower courts and Bell appealed to the House of Lords.]

LORD ATKIN: [217] My Lords, the rules of law dealing with the effect of mistake on contract appear to be established with reasonable clearness. If mistake operates at all it operates so as to negative or in some cases to nullify consent. The parties may be mistaken in the identity of the contracting parties, or in the existence of the subject matter of the contract at the date of the contract, or in the quality of the subject matter of the contract. These mistakes may be by one party, or by both, and the legal effect may depend upon the class of mistake above mentioned. Thus a mistaken belief by A that he is contracting with B, whereas in fact he is contracting with C, will negative consent where it is clear that the intent of A was to contract only with B. So the agreement of A and B to purchase a specific article is void if in fact the article had perished before the date of sale. In this case, though the parties in fact were agreed about the subject matter, yet a consent to transfer or take delivery of something not existent is deemed useless, the consent is nullified. As codified in the *Sale of Goods Act* the contract is expressed to be void if the seller was in ignorance of the destruction of the specific chattel. I apprehend that if the seller with knowledge that a chattel was destroyed purported to sell it to a purchaser, the latter might sue for damages for non-delivery though the former could not sue for non-acceptance, but I know of no case where a seller has so committed himself. This is a case where mutual mistake certainly and unilateral mistake [218] by the seller of goods will prevent a contract from arising. Corresponding to mistake as to the existence of the subject matter is mistake as to title in cases where, unknown to the parties, the buyer is already the owner of that which the seller purports to sell to him. The parties intended to effectuate a transfer of ownership: such a transfer is impossible: the stipulation is naturali ratione inutilis. This is the case of *Cooper v Phibbs* (1867) LR 2 HL 149, where A agreed to take a lease of a fishery from B, though contrary to the belief of both parties at the time A was tenant for life of the fishery and B appears to have had no title at all. To such a case Lord Westbury applied the principle that if parties contract under a mutual mistake and misapprehension as to their relative and respective rights the result is that the agreement is liable to be set aside as having proceeded upon a common mistake. Applied to the context the statement is only subject to the criticism that the agreement would appear to be void rather than voidable. Applied to mistake as to rights generally it would appear to be too wide. Even where the vendor has no title, though both parties think he has, the correct view would appear to be there is a contract but that the vendor has either committed a breach of a stipulation as to title, or is not able to perform his contract. The contract is unenforceable by him but is not void.

Mistake as to quality of the thing contracted for raises more difficult questions. In such a case a mistake will not affect assent unless it is the mistake of both parties, and is as to the existence of

Bell v Lever Brothers cont.

some quality which makes the thing without the quality essentially different from the thing as it was believed to be. Of course it may appear that the parties contracted that the article should possess the quality which one or other or both mistakenly believed it to possess. But in such a case there is a contract and the inquiry is a different one, being whether the contract as to quality amounts to a condition or a warranty, a different branch of the law …

[223] We are now in a position to apply to the facts of this case the law as to mistake so far as it has been stated. It is essential on this part of the discussion to keep in mind the finding of the jury acquitting the defendants of fraudulent misrepresentation or concealment in procuring the agreements in question. Grave injustice may be done to the defendants and confusion introduced into the legal conclusion, unless it is quite clear that in considering mistake in this case no suggestion of fraud is admissible and cannot strictly be regarded by the judge who has to determine the legal issues raised. The agreement which is said to be void is the agreement contained in the letter of 19 March 1929, that Bell would retire from the board of the Niger Co and its subsidiaries, and that in consideration of his doing so Levers would pay him as compensation for the termination of his agreements and consequent loss of office the sum of £30 000 in full satisfaction and discharge of all claims and demands of any kind against Lever Bros, the Niger Co or its subsidiaries. The agreement, which as part of the contract was terminated, had been broken so that it could be repudiated. Is an agreement to terminate a broken contract different in kind from an agreement to terminate an unbroken contract, assuming that the breach has given the one party the right to declare the contract at an end? I feel the weight of the plaintiffs' contention that a contract immediately determinable is a different thing from a contract for an unexpired term, and that the difference in kind can be illustrated by the immense price of release from the longer contract as compared with the shorter. And I agree that an agreement to take an assignment of a lease for five years is not the same thing as to take an assignment of a lease for three years, still less a term for a few months. But on the whole, I have come to the conclusion that it would be wrong to decide that an agreement to terminate a definite specified contract is void if it turns out that the agreement had already been broken and could have been terminated otherwise. The contract released is the identical contract in both cases, and the party paying for release gets exactly [224] what he bargains for. It seems immaterial that he could have got the same result in another way, or that if he had known the true facts he would not have entered into the bargain. A buys B's horse; he thinks the horse is sound and he pays the price of a sound horse; he would certainly not have bought the horse if he had known as the fact is that the horse is unsound. If B has made no representation as to soundness and has not contracted that the horse is sound, A is bound and cannot recover back the price. A buys a picture from B; both A and B believe it to be the work of an old master, and a high price is paid. It turns out to be a modern copy. A has no remedy in the absence of representation or warranty. A agrees to take on lease or to buy from B an unfurnished dwelling house. The house is in fact uninhabitable. A would never have entered into the bargain if he had known the fact. A has no remedy, and the position is the same whether B knew the facts or not, so long as he made no representation or gave no warranty. A buys a roadside garage business from B abutting on a public thoroughfare; unknown to A, but known to B, it has already been decided to construct a bypass road which will divert substantially the whole of the traffic from passing A's garage. Again A has no remedy. All these cases involve hardship on A and benefit B, as most people would say, unjustly. They can be supported on the ground that it is of paramount importance that contracts should be observed, and that if parties honestly comply with the essentials of the formation of contracts, that is, agree in the same terms on the same subject matter, they are bound, and must rely on the stipulations of the contract for protection from the effect of facts unknown to them.

This brings the discussion to the alternative mode of expressing the result of a mutual mistake. It is said that in such a case as the present there is to be implied a stipulation in the contract that a condition of its efficacy is that the facts should be as understood by both parties; namely, that the contract could not be terminated till the end of the current term. The question of the existence of conditions, express [225] or implied, is obviously one that affects not the formation of contract, but the investigation of the terms of the contract when made. A condition derives its efficacy from the

Bell v Lever Brothers cont.

consent of the parties, express or implied. They have agreed, but on what terms. One term may be that unless the facts are or are not of a particular nature, or unless an event has or has not happened, the contract is not to take effect. With regard to future facts such a condition is obviously contractual. Till the event occurs the parties are bound. Thus the condition (the exact terms of which need not here be investigated) that is generally accepted as underlying the principle of the frustration cases is contractual, an implied condition. Sir John Simon formulated for the assistance of your Lordships a proposition which should be recorded:

> Whenever it is to be inferred from the terms of a contract or its surrounding circumstances that the consensus has been reached upon the basis of a particular contractual assumption, and that assumption is not true, the contract is avoided, that is, it is void ab initio if the assumption is of present fact and it ceases to bind if the assumption is of future fact.

I think few would demur to this statement, but its value depends upon the meaning of "a contractual assumption", and also upon the true meaning to be attached to "basis", a metaphor which may mislead. When used expressly in contracts, for instance, in policies of insurance, which state that the truth of the statements in the proposal is to be the basis of the contract of insurance, the meaning is clear. The truth of the statements is made a condition of the contract, which failing, the contract is void unless the condition is waived. The proposition does not amount to more than this that, if the contract expressly or impliedly contains a term that a particular assumption is a condition of the contract, the contract is avoided if the assumption is not true. But we have not advanced far on the inquiry how to ascertain whether the contract does contain such a condition. Various words are to be found to define the state of things which make a condition. "In the contemplation of both parties fundamental to the continued validity of the contract", "a [226] foundation essential to its existence", "a fundamental reason for making it", are phrases found in the important judgment of Scrutton LJ in the present case. The first two phrases appear to me to be unexceptionable. They cover the case of a contract to serve in a particular place, the existence of which is fundamental to the service, or to procure the services of a professional vocalist, whose continued health is essential to performance. But "a fundamental reason for making a contract" may, with respect, be misleading. The reason of one party only is presumably not intended, but in the cases I have suggested above, of the sale of a horse or of a picture, it might be said that the fundamental reason for making the contract was the belief of both parties that the horse was sound or the picture of an old master, yet in neither case would the condition as I think exist. Nothing is more dangerous than to allow oneself liberty to construct for the parties contracts which they have not in terms made by importing implications which would appear to make the contract more businesslike or more just. The implications to be made are to be no more than are "necessary" for giving business efficacy to the transaction, and it appears to me that, both as to the existing facts and future facts, a condition would not be implied unless the new state of facts makes the contract something different in kind from the contract in the original state of facts. Thus, in *Krell v Henry* [1903] 2 KB 740 at 754, Vaughan Williams LJ finds that the subject of the contract was "rooms to view the procession": the postponement, therefore, made the rooms not rooms to view the procession. This also is the test finally chosen by Lord Sumner in *Bank Line v Arthur Capel & Co* [1919] AC 435, agreeing with Lord Dunedin in *Metropolitan Water Board v Dick Kerr* [1918] AC 119 at 128, where, dealing with the criterion for determining the effect of interruption in "frustrating" a contract, he says: "An interruption may be so long as to destroy the identity of the work or service, when resumed, with the work or service when interrupted."

We therefore get a common standard for mutual mistake, [227] and implied conditions whether as to existing or as to future facts. Does the state of the new facts destroy the identity of the subject matter as it was in the original state of facts? To apply the principle to the infinite combinations of facts that arise in actual experience will continue to be difficult, but if this case results in establishing order into what has been a somewhat confused and difficult branch of the law it will have served a useful purpose.

I have already stated my reasons for deciding that in the present case the identity of the subject matter was not destroyed by the mutual mistake, if any, and need not repeat them.

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[31.55] LORD WARRINGTON OF CLYFFE (dissenting): [208] The real question … is whether the erroneous assumption on the part of both parties to the agreements that the service contracts were undeterminable except by agreement was of such a fundamental character as to constitute an underlying assumption without which the parties would not have made the contract they in fact made, or whether it was only a common error as to a material element, but one not going to the root of the matter and not affecting the substance of the consideration.

With the knowledge that I am differing from the majority of your Lordships, I am unable to arrive at any conclusion except that in this case the erroneous assumption was essential to the contract which without it would not have been made.

It is true that the error was not one as to the terms of the service agreements, but it was one which, having regard to the matter on which the parties were negotiating, namely, the terms on which the service agreements were to be prematurely determined and the compensation to be paid therefor, was in my opinion as fundamental to the bargain as any error one can imagine …

[LORDS BLANESBURGH and THANKERTON delivered speeches agreeing with Lord Atkin that the appeal should be allowed. VISCOUNT HAILSHAM agreed with the dissenting speech of Lord Warrington of Clyffe.]

Appeal allowed.

[31.57] **Note**

The principle identified in *Bell v Lever Brothers* was applied in *HWG Holdings Pty Ltd v Fairlie Court Pty Ltd* [2015] VSC 519, where Sifris J found a contract to be void at common law for common mistake.

Rescission in equity

[31.58] A contract that is on foot at common law notwithstanding a common mistake may nonetheless be voidable in equity. Equity will intervene if the enforcement of legal rights amounts to unconscionable conduct in the circumstances. The leading case on this point is *Solle v Butcher* [1950] 1 KB 671, extracted at [31.60]. Denning LJ's influential speech which has been cited with approval by the High Court of Australia (*Taylor v Johnson* (1983) 151 CLR 422, 431) but was subsequently found by the English Court of Appeal to have been wrongly decided (see *Great Peace Shipping Ltd v Tsavliris Salvage (International) Ltd (The Great Peace)* [2002] EWCA Civ 1407; [2003] QB 679, extracted at [31.65]).

Solle v Butcher

[31.60] *Solle v Butcher* [1950] 1 KB 671 (Court of Appeal) – Appeal from the County Court.

[FACTS: Butcher (the *landlord, defendant*) leased a flat to Solle (the *tenant, plaintiff*) for a term of seven years at an annual rental of £250. The flat had previously been let to one Taylor at an annual rent of £140. Both Butcher and Solle believed that because of extensive structural alterations to the premises the flat was not governed by the *Rent Restriction Acts 1920* and *1923*. This view was incorrect and as a result the maximum permissible rent allowable under the Act, unless a notice of increase had been given to the tenant before the lease was signed, was £140 per annum.

Solle v Butcher cont.

Solle commenced an action in the County Court in which he claimed a declaration that the maximum permissible rent was £140 per annum and that he was entitled to recover the excess he had paid under the lease. Butcher resisted these claims on various grounds and counterclaimed for rescission of the lease on the basis of a common mistake. Judgment was entered for Solle, and Butcher appealed to the Court of Appeal.]

DENNING LJ: [690] So long as the lease stands the tenant's argument is unanswerable. The Rent Restriction Acts prevent the landlord from recovering any more than the standard rent unless a notice of intention to increase the rent is given either to the sitting tenant or to a prospective tenant; and, although errors or omissions in a notice are not necessarily fatal, nevertheless there must be a notice, however informal. In this case the landlord conceded that no notice was served before the new lease was granted. It follows that the raising of the rent from £140 to £250 was invalid, and the landlord can do nothing now to repair the omission because no fresh notice of increase can be effective so long as the lease continues. The landlord tried to overcome this difficulty by saying that the tenant was estopped from saying that the rent of £250 was invalid; but, just as parties cannot contract out of the Acts, so they cannot defeat them by any estoppel.

In this plight the landlord seeks to set aside the lease. He says, with truth, that it is unfair that the tenant should have the benefit of the lease for the outstanding five years of the term at £140 a year, when the proper rent is £250 a year. If he cannot give a notice of increase now, can he not avoid the lease? The only ground on which he can avoid it is on the ground of mistake. It is quite plain that the parties were under a mistake. They thought that the flat was not tied down to a controlled rent, whereas in fact it was. In order to see whether the lease can be avoided for this mistake it is necessary to remember that mistake is of two kinds:

(1) mistake which renders the contract void, that is, a nullity from the beginning, which is the kind of mistake which was dealt with by the courts of common law; and

(2) mistake which renders the contract not void, but voidable, that is, liable to be set aside on such terms as the court thinks fit, which is the kind of mistake which was dealt with by the [691] courts of equity.

Much of the difficulty which has attended this subject has arisen because, before the fusion of law and equity, the courts of common law, in order to do justice in the case in hand, extended this doctrine of mistake beyond its proper limits and held contracts to be void which were really only voidable, a process which was capable of being attended with much injustice to third persons who had bought goods or otherwise committed themselves on the faith that there was a contract. In the well known case of *Cundy v Lindsay* (1876) 1 QBD 348; (1878) 3 App Cas 459, Cundy suffered such an injustice. He bought the handkerchiefs from the rogue, Blenkarn, before the Judicature Acts came into operation. Since the fusion of law and equity, there is no reason to continue this process, and it will be found that only those contracts are now held void in which the mistake was such as to prevent the formation of any contract at all.

Let me first consider mistakes which render a contract a nullity. All previous decisions on this subject must now be read in the light of *Bell v Lever Bros Ltd* [1932] AC 161 at 222, 224. The correct interpretation of that case, to my mind, is that, once a contract has been made, that is to say, once the parties, whatever their inmost states of mind, have to all outward appearances agreed with sufficient certainty in the same terms on the same subject matter, then the contract is good unless and until it is set aside for failure of some condition on which the existence of the contract depends, or for fraud, or on some equitable ground. Neither party can rely on his own mistake to say it was a nullity from the beginning, no matter that it was a mistake which to his mind was fundamental, and no matter that the other party knew that he was under a mistake. A fortiori, if the other party did not know of the mistake, but shared it. The cases where goods have perished at the time of sale, or belong to the buyer, are really contracts which are not void for mistake but are void by reason of an implied condition precedent, because the contract proceeded on the basic assumption that it was possible of performance ….

Solle v Butcher cont.

[692] Applying these principles, it is clear that here there was a contract. The parties agreed in the same terms on the same subject matter. It is true that the landlord was under a mistake which was to him fundamental; he would not for one moment have considered letting the flat for seven years if it meant that he could only charge £140 a year for it. He made the fundamental mistake of believing that the rent he could charge was not tied down to a controlled rent; but, whether it was his own mistake or a mistake common to both him and the tenant, it is not a ground for saying that the lease was from the beginning a nullity. Any other view would lead to remarkable results, for it would mean that, in the many cases where the parties mistakenly think a house is outside the Rent Restriction Acts when it is really within them, the tenancy would be a nullity, and the tenant would have to go, with the result that the tenants would not dare to seek to have their rents reduced to the permitted amounts lest they should be turned out.

Let me next consider mistakes which render a contract voidable, that is, liable to be set aside on some equitable ground. Whilst presupposing that a contract was good at law, or at any rate not void, the court of equity would often relieve a party from the consequences of his own mistake, so long as it could do so without injustice to third parties. The court, it was said, had power to set aside the contract whenever it was of opinion that it was unconscientious for the other party to avail himself of the legal advantage which he had obtained: *Torrance v Bolton* (1872) LR 8 Ch App 118 at 124 per James LJ.

The court had, of course, to define what it considered to be unconscientious, but in this respect equity has shown a progressive development. It is now clear that a contract will be set aside if the mistake of the one party has been induced by a material misrepresentation of the other, even though it was not fraudulent or fundamental, or if one party, knowing that the other is mistaken about the terms of an offer, or the identity of the person by whom it is made, lets him remain under his delusion and concludes a contract on the mistaken terms instead of pointing out the mistake. That is, I venture to think, the ground [693] on which the defendant in *Smith v Hughes* (1871) LR 6 QB 597, would be exempted nowadays, and on which, according to the view by Blackburn J of the facts, the contract in *Lindsay v Cundy* at 355; 459, was voidable and not void …

A contract is also liable in equity to be set aside if the parties were under a common misapprehension either as to facts or as to their relative and respective rights, provided that the misapprehension was fundamental and that the party seeking to set it aside was not himself at fault. That principle was first applied to private rights as long ago as 1730 in *Lansdowne v Lansdowne* (1730) Mos 364; 2 Jac & W 205; 37 ER 605 … Eighteen years later, in the time of Lord Harwicke, the same principle was applied in *Bingham v Bingham* (1748) 1 Ves Sen 126; 27 ER 934; Belt's Supplement 79.

If and in so far as those cases were compromises of disputed rights, they have been subjected to justifiable criticism, but, in cases where there is no element of compromise, but only of mistaken rights, the House of Lords in 1867 in the great case of *Cooper v Phibbs* (1867) LR 2 HL 149 at 170, affirmed the doctrine there acted on as correct. In that case an uncle had told his nephew, not [694] intending to misrepresent anything, but being in fact in error, that he (the uncle) was entitled to a fishery; and the nephew, after the uncle's death, acting in the belief of the truth of what the uncle had told him, entered into an agreement to rent the fishery from the uncle's daughters, whereas it actually belonged to the nephew himself. The mistake there as to the title to the fishery did not render the tenancy agreement a nullity. If it had done, the contract would have been void at law from the beginning and equity would have had to follow the law. There would have been no contract to set aside and no terms to impose. The House of Lords, however, held that the mistake was only such as to make it voidable, or, in Lord Westbury's words: "liable to be set aside" on such terms as the court thought fit to impose; and it was so set aside.

The principle so established by *Cooper v Phibbs* has been repeatedly acted on: see, for instance *Earl Beauchamp v Winn* (1873) LR 6 HL 223 at 234, and *Huddersfield Banking Co Ltd v Lister* [1895] 2 Ch 273. It is in no way impaired by *Bell v Lever Bros Ltd* which was treated in the House of Lords as a case at law depending on whether the contract was a nullity or not. If it had been considered on equitable

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grounds, the result might have been different. In any case, the principle of *Cooper v Phibbs* has been fully restored by *Norwich Union Fire Insurance Society Ltd v William H Price Ltd* [1934] AC 455 at 462–3.

Applying that principle to this case, the facts are that the plaintiff, the tenant, was a surveyor who was employed by the defendant, the landlord, not only to arrange finance for the purchase of the building and to negotiate with the rating authorities as to the new rateable values, but also to let the flats. He was the agent for letting and he clearly formed the view that the building was not controlled. He told the valuation officer so. He advised the defendant what were the rents which could be charged. He read to the defendant an opinion of counsel relating to the matter, and told him that in his opinion he could charge £250 and that there was no previous control. He said that the flats came outside the Act and that the defendant was "clear". The defendant relied on what the plaintiff told him, and authorised the plaintiff to let at the rentals which he had suggested. The plaintiff not only let the four other flats to other people for a long period of [695] years at the new rentals, but also took one himself for seven years at £250 a year. Now he turns round and says, quite unashamedly, that he wants to take advantage of the mistake to get the flat at £140 a year for seven years instead of the £250 a year, which is not only the rent he agreed to pay but also the fair and economic rent; and it is also the rent permitted by the Acts on compliance with the necessary formalities. If the rules of equity have become so rigid that they cannot remedy such an injustice, it is time we had a new equity, to make good the omissions of the old. But, in my view, the established rules are amply sufficient for this case …

The fact that the lease has been executed is no bar to this relief. No distinction can, in this respect, be taken between rescission for innocent misrepresentation and rescission for common misapprehension, for many of the common misapprehensions are due to innocent misrepresentation; and *Cooper v Phibbs* shows that rescission is available even after an agreement of tenancy has been executed and partly performed. The observations in *Seddon v North Eastern Salt Co Ltd* [1905] 1 Ch 326, have lost all authority since Scrutton LJ threw doubt on them in *Lever Bros Ltd v Bell* at 588, and the Privy Council actually set aside an executed agreement in *MacKenzie v Royal Bank of Canada* [1934] AC 468. If and in so far as *Angel v Jay* [1911] 1 KB 666, decided that an executed lease could not be [696] rescinded for an innocent misrepresentation, it was, in my opinion, a wrong decision. It would mean that innocent people would be deprived of their right of rescission before they had any opportunity of knowing they had it. I am aware that in *Wilde v Gibson* (1848) 1 HLC 605; 9 ER 897, Lord Campbell said that an executed conveyance could be set aside only on the ground of actual fraud, but this must be taken to be confined to misrepresentations as to defects of title on the conveyance of land.

In the ordinary way, of course, rescission is only granted when the parties can be restored to substantially the same position as that in which they were before the contract was made, but, as Lord Blackburn said in *Erlanger v New Sombrero Phosphate Co* (1878) 3 App Cas 1218 at 1278–9: "The practice has always been for a court of equity to give this relief whenever, by the exercise of its powers, it can do what is practically just, though it cannot restore the parties precisely to the state they were in before the contract."

That indeed was what was done in *Cooper v Phibbs*. Terms were imposed so as to do what was practically just. What terms then, should be imposed here? If the lease were set aside without any terms being imposed, it would mean that the plaintiff, the tenant, would have to go out and would have to pay a reasonable sum for his use and occupation. That would, however, not be just to the tenant …. I think that this court should … [697] … impose terms which will enable the tenant to choose either to stay on at the proper rent or to go out.

The terms will be complicated by reason of the Rent Restriction Acts, but it is not beyond the wit of man to devise them. Subject to any observations which the parties may desire to make, the terms which I suggest are these: the lease should only be set aside if the defendant is prepared to give an undertaking that he will permit the plaintiff to be a licensee of the premises pending the grant of a new lease. Then, whilst the plaintiff is a licensee, the defendant will in law be in possession of the

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premises, and will be able to serve on the plaintiff, as prospective tenant, a notice under s 7(4), of the Act of 1938 increasing the rent to the full permitted amount. The defendant must further be prepared to give an undertaking that he will serve such a notice within three weeks from the drawing up of the order, and that he will, if written request is made by the plaintiff, within one month of the service of the notice, grant him a new lease at the full permitted amount of rent, not, however, exceeding £250 a year, for a term expiring on 29 September 1954, subject in all other respects to the same covenants and conditions as in the rescinded lease. If there is any difference of opinion about the figures stated in the notice, that can, of course, be adjusted during the currency of the lease. If the plaintiff does not choose to accept the licence or the new lease, he must go out. He will not be entitled to the protection of the Rent Restriction Acts because, the lease being set aside, there will be no initial contractual tenancy from which a statutory tenancy can spring.

In my opinion, therefore, the appeal should be allowed. The declaration that the standard rent of the flat is £140 a year should stand. An order should be made on the counterclaim that, on the defendant's giving the undertakings which I have mentioned, the lease be set aside. An account should be had to determine the sum payable for use and occupation. The plaintiff's claim for repayment of rent and for breach of covenant should be dismissed. In respect of his occupation after rescission and during the subsequent licence, the plaintiff will be liable to pay a reasonable sum for use and occupation. That sum should, prima facie, be assessed at the full amount permitted by the Acts, not, however, exceeding £250 a year. Mesne profits as against a trespasser [698] are assessed at the full amount permitted by the Acts, even though notices of increase have not been served, because that is the amount lost by the landlord. The same assessment should be made here, because the sums payable for use and occupation are not rent, and the statutory provisions about notices of increase do not apply to them. All necessary credits must, of course, be given in respect of past payments, and so forth.

[BUCKNILL LJ delivered a separate judgment in which he arrived at the same conclusion as Denning LJ. Jenkins LJ dissented.]

Appeal allowed.

Great Peace Shipping v Tsavliris Salvage (International) (The Great Peace)

[31.65] *Great Peace Shipping Ltd v Tsavliris Salvage (International) Ltd (The Great Peace)* [2002] EWCA Civ 1407; [2003] QB 679 (Court of Appeal) – Appeal from Toulson J.

[FACTS: The defendants contracted to provide salvage services to a ship (the *Cape Providence*), which had suffered serious structural damage in the South Indian Ocean. The nearest tug was five to six days away. The defendants were told by a third party that the claimants' ship (the *Great Peace*) was 35 miles away from the Cape Providence. After some negotiations, the defendants contracted with the claimants to charter the *Great Peace* until the tug arrived (for a minimum period of five days) to stand by the *Cape Providence* in case it became necessary to rescue the crew. The fee was agreed to be $16,500 per day with a minimum of "5 days due and earned upon *Great Peace* altering direction, being $82,500". The written agreement stipulated payment of a cancellation fee equal to the minimum hire fee. Almost immediately after the *Great Peace* changed course to rendezvous with the *Cape Providence*, the defendants became aware that the ships were in fact 410 miles apart. The defendants did not cancel the arrangement immediately but did so within a few hours, once they had located and made arrangements with a closer ship (the Nordfarer). The defendants refused to pay any amount to the claimants. The claimants sought payment of $82,500.]

Great Peace Shipping v Tsavliris Salvage (International) (The Great Peace) cont.

THE COURT (LORD PHILLIPS OF WORTH MATRAVERS MR, MAY AND LAWS LJJ):

Introduction

[686] In 1931 in *Bell v Lever Bros Ltd* [1932] AC 161 Lord Atkin made a speech which he must have anticipated would be treated as the definitive exposition of the rules of law governing the effect of mistake on contract. In 1949 in *Solle v Butcher* [1950] 1 KB 671 Denning LJ identified an equitable jurisdiction which permits the court to intervene where the parties have concluded an agreement that was binding in law under a common misapprehension of a fundamental nature as to the material facts or their respective rights. Over the last 50 years judges and jurists have wrestled with the problem of reconciling these two decisions and identifying with precision the principles that they lay down.

In the court below Toulson J used this case as a vehicle to review this difficult area of jurisprudence. He reached the bold conclusion that the view of the jurisdiction of the court expressed by Denning LJ in *Solle v Butcher* was "over-broad", by which he meant wrong. Equity neither gave a party a right to rescind a contract on grounds of common mistake nor conferred on the court a discretion to set aside a contract on such grounds.

The issues

[31.70] The defendants contended that the purported contract had been concluded by reason of a fundamental mistake of fact in that both parties proceeded on the fundamental assumption that the *Great Peace* was "in close proximity" to the *Cape Providence*, when she was not. It followed either that the contract was void in law, or that the contract was voidable and the defendants were entitled to relief in equity by way of rescission.

In oral argument in the court below, Mr Reeder for the defendants defined "close proximity" as meaning sufficiently close to enable the *Cape Providence* to have come up with the *Great Peace* in the space of a few hours ….

[690] Toulson J rejected the defendants' contentions and awarded the claimants the sum claimed. By this appeal the defendants reassert their defence based upon mistake.

The mistake in this case

[31.75] [691] In the present case the parties were agreed as to the express terms of the contract. The defendants agreed that the *Great Peace* would deviate towards the *Cape Providence* and, on reaching her, escort her so as to be on hand to save the lives of her crew, should she founder. The contractual services would terminate when the salvage tug came up with the casualty. The mistake relied upon by the defendants is as to an assumption that they claim underlay the terms expressly agreed. This was that the *Great Peace* was within a few hours sailing of the *Cape Providence*. They contend that this mistake was fundamental in that it would take the *Great Peace* about 39 hours to reach a position where she could render the services which were the object of the contractual adventure.

Thus what we are here concerned with is an allegation of a common mistaken assumption of fact which renders the service that will be provided if the contract is performed in accordance with its terms something different from the performance that the parties contemplated. This is the type of mistake which fell to be considered in *Bell v Lever Bros Ltd* [1932] AC 161. We shall describe it as "common mistake", although it is often alternatively described as "mutual mistake".

Mr Reeder for the defendants puts his case in two alternative ways. First he submits that performance of the contract in the circumstances as they turned out to be would have been fundamentally different from the performance contemplated by the parties, so much so that the effect of the mistake was to deprive the agreement of the consideration underlying it. Under common law, so he submits, the effect of such a mistake is to render the contract void. Mr Reeder draws a close analogy with the test to be applied when deciding whether a contract has been frustrated or whether there has been a fundamental breach. The foundation for this submission is *Bell v Lever Bros Ltd*.

If the facts of this case do not meet that test, Mr Reeder submits that they none the less give rise to a right of rescission in equity. He submits that such a right arises whenever the parties contract under a

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common mistake as to a matter that can properly be described as "fundamental" or "material" to the agreement in question. Here he draws an analogy with the test for rescission where one party, by innocent misrepresentation, induces the other to enter into a contract – indeed that is one situation where the parties contract under a common mistake. The foundation for this submission is Solle v Butcher [1950] 1 KB 671.

…

Bell v Lever Bros

[31.80] [697] It is generally accepted that the principles of the law of common mistake expounded by Lord Atkin in *Bell v Lever Bros Ltd* [1932] AC 161 were based on the common law. The issue raised by Mr Reeder's submissions is whether there subsists a separate doctrine of common mistake founded in equity which enables the court to intervene in circumstances where the mistake does not render the contract void under the common law principles. The first step is to identify the nature of the common law doctrine of mistake that was identified, or established, by *Bell v Lever Bros Ltd*.

[After discussing developments in the doctrine of frustration, the court continued, at 703] What do these developments in the law of frustration have to tell us about the law of common mistake? First that the theory of the implied term is as unrealistic when considering common mistake as when considering frustration. Where a fundamental assumption upon which an agreement is founded proves to be mistaken, it is not realistic to ask whether the parties impliedly agreed that in those circumstances the contract would not be binding. The avoidance of a contract on the ground of common mistake results from a rule of law under which, if it transpires that one or both of the parties have agreed to do something which it is impossible to perform, no obligation arises out of that agreement.

In considering whether performance of the contract is impossible, it is necessary to identify what it is that the parties agreed would be performed. This involves looking not only at the express terms, but at any implications that may arise out of the surrounding circumstances. In some cases it will be possible to identify details of the "contractual adventure" which go beyond the terms that are expressly spelt out, in others it will not.

Just as the doctrine of frustration only applies if the contract contains no provision that covers the situation, the same should be true of common mistake. If, on true construction of the contract, a party warrants that the subject matter of the contract exists, or that it will be possible to perform the contract, there will be no scope to hold the contract void on the ground of common mistake.

If one applies the passage from the judgment of Lord Alverstone CJ in *Blakeley v Muller & Co* 19 TLR 186, which we quoted above to a case of common mistake, it suggests that the following elements must be present if common mistake is to avoid a contract: (i) there must be a common assumption as to the existence of a state of affairs; (ii) there must be no warranty by either party that that state of affairs exists; (iii) the non-existence of the state of affairs must not be attributable to the fault of either party; (iv) the non-existence of the state of affairs must render performance of the contract impossible; (v) the state of affairs may be the existence, or a vital attribute, of the consideration to be provided or circumstances which must subsist if performance of the contractual adventure is to be possible.

The second and third of these elements are well exemplified by the decision of the High Court of Australia in *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377. The Commission invited tenders for the purchase of "an oil tanker lying on Jourmaund Reef … said to contain oil". The plaintiff tendered successfully for the purchase, fitted out a salvage expedition at great expense and proceeded to the reef. No tanker was to be found – it had never existed. The plaintiff claimed damages for breach of contract. The Commission argued that the contract was void because of a common mistake as to the existence of the tanker.

In the leading judgment Dixon and Fullagar JJ expressed doubt as to the existence of a doctrine of common mistake in contract. They considered that whether impossibility of performance discharged obligations, be the impossibility existing at the time of the contract or supervening thereafter, depended solely upon the construction of the contract. They went on, [704] however, to consider the position if this were not correct. They observed that the common assumption that the tanker existed

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was one that was created by the Commission, without any reasonable grounds for believing that it was true. They held, at 408:

> a party cannot rely on mutual mistake where the mistake consists of a belief which is, on the one hand, entertained by him without any reasonable ground, and, on the other hand, deliberately induced by him in the mind of the other party.

They held, at 410, that, on its proper construction, the contract included a promise by the Commission that the tanker existed in the position specified. Alternatively, they held that if the doctrine of mistake fell to be applied

> then the Commission cannot in this case rely on any mistake as avoiding the contract, because any mistake was induced by the serious fault of their own servants, who asserted the existence of a tanker recklessly and without any reasonable ground.

This seems, if we may say so, an entirely satisfactory conclusion and one that can be reconciled with the English doctrine of mistake. That doctrine fills a gap in the contract where it transpires that it is impossible of performance without the fault of either party and the parties have not, expressly or by implication, dealt with their rights and obligations in that eventuality. In *Associated Japanese Bank (International) Ltd v Crédit du Nord SA* [1989] 1 WLR 255, 268 Steyn J observed:

> Logically, before one can turn to the rules as to mistake, whether at common law or in equity, one must first determine whether the contract itself, by express or implied condition precedent or otherwise, provides who bears the risk of the relevant mistake. It is at this hurdle that many pleas of mistake will either fail or prove to have been unnecessary. Only if the contract is silent on the point, is there scope for invoking mistake.

…
In *William Sindall plc v Cambridgeshire County Council* [1994] 1 WLR 1016, 1035 Hoffmann LJ commented that such allocation of risk can come about by rules of general law applicable to contract, such as "caveat emptor" in the law of sale of goods or the rule that a lessor or vendor of land does not impliedly warrant that the premises are fit for any particular purpose, so that this risk is allocated by the contract to the lessee or purchaser.

Thus, while we do not consider that the doctrine of common mistake can be satisfactorily explained by an implied term, an allegation that a contract is void for common mistake will often raise important issues of construction. Where it is possible to perform the letter of the contract, but it is alleged that there was a common mistake in relation to a fundamental assumption which renders performance of the essence of the obligation impossible, it will be necessary, by construing the contract in the light of all the material circumstances, to decide whether this is indeed the case. In performing this exercise, the test advanced by Diplock LJ, applicable alike to both frustration and to fundamental breach, in *Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26 [705], 65-66 can be of assistance:

> Every synallagmatic contract contains in it the seeds of the problem: in what event will a party be relieved of his undertaking to do that which he has agreed to do but has not yet done? The contract may itself expressly define some of these events, as in the cancellation clause in a charterparty; but, human prescience being limited, it seldom does so exhaustively and often fails to do so at all. In some classes of contracts such as sale of goods, marine insurance, contracts of affreightment evidenced by bills of lading and those between parties to bills of exchange, Parliament has defined by statute some of the events not provided for expressly in individual contracts of that class; but where an event occurs the occurrence of which neither the parties nor Parliament have expressly stated will discharge one of the parties from further performance of his undertakings, it is for the court to determine whether the event has this effect or not. The test whether an event has this effect or not has been stated in a number of metaphors all of which I think amount to the same thing: does the occurrence of

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> the event deprive the party who has further undertakings still to perform of substantially the whole benefit which it was the intention of the parties as expressed in the contract that he should obtain as the consideration for performing those undertakings? This test is applicable whether or not the event occurs as a result of the default of one of the parties to the contract, but the consequences of the event are different in the two cases. Where the event occurs as a result of the default of one party, the party in default cannot rely upon it as relieving himself of the performance of any further undertakings on his part, and the innocent party, although entitled to, need not treat the event as relieving him of the further performance of his own undertakings. This is only a specific application of the fundamental legal and moral rule that a man should not be allowed to take advantage of his own wrong. Where the event occurs as a result of the default of neither party, each is relieved of the further performance of his own undertakings, and their rights in respect of undertakings previously performed are now regulated by the *Law Reform (Frustrated Contracts) Act 1943*.

This test may not, however, be adequate in the context of mistake, for there are cases where contracts have been held void for mistake, notwithstanding that the effect of the mistake was that the consideration proved to have substantially greater value than the parties had contemplated.

Once the court determines that unforeseen circumstances have, indeed, resulted in the contract being impossible of performance, it is next necessary to determine whether, on true construction of the contract, one or other party has undertaken responsibility for the subsistence of the assumed state of affairs. This is another way of asking whether one or other party has undertaken the risk that it may not prove possible to perform the contract, and the answer to this question may well be the same as the answer to the question of whether the impossibility of performance is attributable to the fault of one or other of the parties.

Circumstances where a contract is void as a result of common mistake are likely to be less common than instances of frustration. [706] Supervening events which defeat the contractual adventure will frequently not be the responsibility of either party. Where, however, the parties agree that something shall be done which is impossible at the time of making the agreement, it is much more likely that, on true construction of the agreement, one or other will have undertaken responsibility for the mistaken state of affairs. This may well explain why cases where contracts have been found to be void in consequence of common mistake are few and far between.

Lord Atkin himself gave no examples of cases where a contract was rendered void because of a mistake as to quality which made "the thing without the quality essentially different from the thing as it was believed to be". He gave a number of examples of mistakes which did not satisfy this test, which served to demonstrate just how narrow he considered the test to be. Indeed this is further demonstrated by the result reached on the facts of *Bell v Lever Bros Ltd* [1932] AC 161 itself.

Mistake in equity

[31.85] [708] In *Solle v Butcher* [1950] 1 KB 671 Denning LJ held that a court has an equitable power to set aside a contract that is binding in law on the ground of common mistake. Subsequently, as Lord Denning MR, in *Magee v Pennine Insurance Co Ltd* [1969] 2 QB 507, 514 said of *Bell v Lever Bros Ltd* [1932] AC 161:

> I do not propose today to go through the speeches in that case. They have given enough trouble to commentators already. I would say simply this: a common mistake, even on a most fundamental matter, does not make a contract void at law: but it makes it voidable in equity. I analysed the cases in *Solle v Butcher* [1950] 1 KB 671, and I would repeat what I said there, at p 693: "A contract is also liable in equity to be set aside if the parties were under a common misapprehension either as to facts or as to their relative and respective rights, provided that the misapprehension was fundamental and that the party seeking to set it aside was not himself at fault."

…

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[709] Toulson J has taken a different view. He has concluded that it is not possible to differentiate between the test of mistake identified in *Bell v Lever Bros Ltd* and that advanced by Lord Denning MR as giving rise to the equitable jurisdiction to rescind. He has examined the foundations upon which Lord Denning MR founded his decision in *Solle v Butcher* and found them defective. These are conclusions that we must review. If we agree with them the question will then arise of whether it was open to him, or is open to this court, to rule that the doctrine of common mistake leaves no room for the intervention of equity.

The following issues fall to be considered in relation to the effect of common mistake in equity. (1) Prior to *Bell v Lever Bros Ltd* was there established a doctrine under which equity permitted rescission of a contract on grounds of common mistake in circumstances where the contract was valid at common law? (2) Could such a doctrine stand with *Bell v Lever Bros Ltd?* (3) Is this court none the less bound to find that such a doctrine exists having regard to *Solle v Butcher* and subsequent decisions?

[After analysing *Cooper v Phibbs LR* 2 HL 149 and quoting several passages from *Bell v Lever Bros Ltd*, the court continued, at p 715:] These passages demonstrate that the House of Lords in *Bell v Lever Bros Ltd* [1932] AC 161 considered that the intervention of equity, as demonstrated in *Cooper v Phibbs* LR 2 HL 149, took place in circumstances where the common law would have ruled the contract void for mistake. We do not find it conceivable that the House of Lords overlooked an equitable right in *Lever Bros* to rescind the agreement, notwithstanding that the [716] agreement was not void for mistake at common law. The jurisprudence established no such right. Lord Atkin's test for common mistake that avoided a contract, while narrow, broadly reflected the circumstances where equity had intervened to excuse performance of a contract assumed to be binding in law.

…

[718] Toulson J described [the decision by Denning LJ in *Solle v Butcher* [1950] 1 KB 671] as one which "sought to outflank *Bell v Lever Bros Ltd* [1932] AC 161". We think that this was fair comment. It was not realistic to treat the House of Lords in *Bell v Lever Bros Ltd* as oblivious to principles of equity, nor to suggest that "if it had been considered on equitable grounds the result might have been different". For the reasons that we have given, we do not consider that *Cooper v Phibbs* LR 2 HL 149 demonstrated or established an equitable jurisdiction to grant rescission for common mistake in circumstances that fell short of those in which the common law held a contract void. In so far as this was in doubt, the House of Lords in *Bell v Lever Bros Ltd* delimited the ambit of operation of *Cooper v Phibbs* by holding, rightly or wrongly, that on the facts of that case the agreement in question was void at law and by holding that, on the facts in *Bell v Lever Bros Ltd*, the mistake had not had the effect of rendering the contract void.

…

In *Bell v Lever Bros Ltd* the House of Lords equated the circumstances which rendered a contract void for common mistake with those which discharged the obligations of the parties under the doctrine of frustration. Denning LJ rightly concluded that the facts of *Solle v Butcher* [1950] 1 KB 671 [719] did not amount to such circumstances. The equitable jurisdiction that he then asserted was a significant extension of any jurisdiction exercised up to that point and one that was not readily reconcilable with the result in *Bell v Lever Bros Ltd*.

If the result in *Solle v Butcher* [1950] 1 KB 671 extended beyond any previous decision the scope of the equitable jurisdiction to rescind a contract for common mistake, the terms of Denning LJ's judgment left unclear the precise parameters of the jurisdiction. The mistake had to be "fundamental", but how far did this extend beyond Lord Atkin's test [1932] AC 161, 218 of a mistake "as to the existence of some quality which makes the thing without the quality essentially different from the thing as it was believed to be"? The difficulty in answering this question was one of the factors that led Toulson J to conclude that there was no equitable jurisdiction to rescind on the ground of common mistake a contract that was valid in law. Was it open to him after half a century and is it open to this court to find that the equitable jurisdiction that Denning LJ identified in *Solle v Butcher* was a chimera?

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Principles of both equity and common law have been developed by the judges and that is not a process which ceased with the Judicature Act. Does the doctrine of precedent require, or even permit, this court to hold that the jurisdiction that Denning LJ purported to exercise in *Solle v Butcher* does not exist because that decision was in conflict with that of the House of Lords in *Bell v Lever Bros Ltd*?

That question first requires consideration of the judgment of Bucknill LJ in *Solle v Butcher* [1950] 1 KB 671. He did not purport to agree with the statements of principle in the judgment of Denning LJ, which he had read in draft. He simply stated that he was applying the principle in *Cooper v Phibbs* LR 2 HL 149 to an agreement concluded under a mistake as to a matter of fundamental importance. None the less, he expressly concurred in ordering rescission on terms. He observed, at the end of his judgment [1950] 1 KB 671, 689, that the defendant had "established his point that the lease should be rescinded on the ground of common mistake, on a suitable undertaking being given by him as regards a new lease to the plaintiff". This was not a finding that was open to him if *Bell v Lever Bros Ltd* [1932] AC 161 had established that common mistake had no effect on a contract unless it was so significant as to render the contract void. It follows that the majority decision in *Solle v Butcher* was based on the assumption of a jurisdiction founded in equity to order rescission of a contract binding in law.

…

[724] A number of cases, albeit a small number, in the course of the last 50 years have purported to follow *Solle v Butcher* [1950] 1 KB 671, yet none of them defines the test of mistake that gives rise to the equitable jurisdiction to rescind in a manner that distinguishes this from the test of a mistake that renders a contract void in law, as identified in *Bell v Lever Bros Ltd* [1932] AC 161. This is, perhaps, not surprising, for Denning LJ, the author of the test in *Solle v Butcher*, set *Bell v Lever Bros Ltd* at nought. It is possible to reconcile *Solle v Butcher* and *Magee v Pennine Insurance Co Ltd* [1969] 2 QB 507 with *Bell v Lever Bros Ltd* only by postulating that there are two categories of mistake, one that renders a contract void at law and one that renders it voidable in equity. Although later cases have proceeded on this basis, it is not possible to identify that proposition in the judgment of any of the three Lords Justices, Denning, Bucknill and Fenton Atkinson, who participated in the majority decisions in the former two cases. Nor, over 50 years, has it proved possible to define satisfactorily two different qualities of mistake, one operating in law and one in equity.

In *Solle v Butcher* Denning LJ identified the requirement of a common misapprehension that was "fundamental", and that adjective has been used to describe the mistake in those cases which have followed *Solle v Butcher*. We do not find it possible to distinguish, by a process of definition, a mistake which is "fundamental" from Lord Atkin's mistake as to quality which "makes the thing [contracted for] essentially different from the thing [that] it was believed to be": [1932] AC 161, 218.

A common factor in *Solle v Butcher* and the cases which have followed it can be identified. The effect of the mistake has been to make the contract a particularly bad bargain for one of the parties. Is there a principle of equity which justifies the court in rescinding a contract where a common mistake has produced this result?

> Equity is … a body of rules or principles which form an appendage to the general rules of law, or a gloss upon them. In origin at least, it represents the attempt of the English legal system to meet a problem which confronts all legal systems reaching a certain stage of development. In order to ensure the smooth running of society it is necessary to formulate general rules which work well enough in the majority of cases. [725] Sooner or later, however, cases arise in which, in some unforeseen set of facts, the general rules produce substantial unfairness. (*Snell's Equity*, 30th ed (2000), para 1-03.)

Thus the premise of equity's intrusion into the effects of the common law is that the common law rule in question is seen in the particular case to work injustice, and for some reason the common law cannot cure itself. But it is difficult to see how that can apply here. Cases of fraud and misrepresentation, and undue influence, are all catered for under other existing and uncontentious equitable rules. We are

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only concerned with the question whether relief might be given for common mistake in circumstances wider than those stipulated in *Bell v Lever Bros Ltd* [1932] AC 161. But that, surely, is a question as to where the common law should draw the line; not whether, given the common law rule, it needs to be mitigated by application of some other doctrine. The common law has drawn the line in *Bell v Lever Bros Ltd*. The effect of *Solle v Butcher* [1950] 1 KB 671 is not to supplement or mitigate the common law: it is to say that *Bell v Lever Bros Ltd* was wrongly decided.

Our conclusion is that it is impossible to reconcile *Solle v Butcher* with *Bell v Lever Bros Ltd*. The jurisdiction asserted in the former case has not developed. It has been a fertile source of academic debate, but in practice it has given rise to a handful of cases that have merely emphasised the confusion of this area of our jurisprudence. In paras 110 to 121 of his judgment, Toulson J has demonstrated the extent of that confusion. If coherence is to be restored to this area of our law, it can only be by declaring that there is no jurisdiction to grant rescission of a contract on the ground of common mistake where that contract is valid and enforceable on ordinary principles of contract law. That is the conclusion of Toulson J. Do the principles of case precedent permit us to endorse it? What is the correct approach where this court concludes that a decision of the Court of Appeal cannot stand with an earlier decision of the House of Lords? There are two decisions which bear on this question.

[After considering those decisions, the court continued, at 726:] We have been in some doubt as to whether this line of authority goes far enough to permit us to hold that *Solle v Butcher* [1950] 1 KB 671 is not good law …. In this case we have heard full argument, which has provided what we believe has been the first opportunity in this court for a full and mature consideration of the relation between *Bell v Lever Bros Ltd* [1932] AC 161 and *Solle v Butcher*. In the light of that consideration we can see no way that *Solle v Butcher* can stand with *Bell v Lever Bros Ltd*. In these circumstances we can see no option but so to hold.

We can understand why the decision in *Bell v Lever Bros Ltd* did not find favour with Lord Denning MR. An equitable jurisdiction to grant rescission on terms where a common fundamental mistake has induced a contract gives greater flexibility than a doctrine of common law which holds the contract void in such circumstances. Just as the *Law Reform (Frustrated Contracts) Act 1943* was needed to temper the effect of the common law doctrine of frustration, so there is scope for legislation to give greater flexibility to our law of mistake than the common law allows.

The result in this case

[31.90] We revert to the question that we left unanswered at paragraph 94. It was unquestionably a common assumption of both parties when the contract was concluded that the two vessels were in sufficiently close proximity to enable the *Great Peace* to carry out the service that she was engaged to perform. Was the distance between the two vessels so great as to confound that assumption and to render the contractual adventure impossible of performance? If so, the defendants would have an arguable case that the contract was void under the principle in *Bell v Lever Bros Ltd* [1932] AC 161.

Toulson J addressed this issue, at para 56:

> Was the *Great Peace* so far away from the *Cape Providence* at the time of the contract as to defeat the contractual purpose — or in other words to turn it into something essentially different from that for which the parties bargained? This is a question of fact and degree, but in my view the answer is No. If it had been thought really necessary, the *Cape* [727] *Providence* could have altered course so that both vessels were heading toward each other. At a closing speed of 19 knots, it would have taken them about 22 hours to meet. A telling point is the reaction of the defendants on learning the true positions of the vessels. They did not want to cancel the agreement until they knew if they could find a nearer vessel to assist. Evidently the defendants did not regard the contract as devoid of purpose, or they would have cancelled at once.

Mr Reeder has attacked this paragraph on a number of grounds. He has submitted that the suggestion that the *Cape Providence* should have turned and steamed towards the *Great Peace* is unreal. We agree.

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The defendants were sending a tug from Singapore in an attempt to salve the *Cape Providence*. The *Great Peace* was engaged by the defendants to act as a stand-by vessel to save human life, should this prove necessary, as an ancillary aspect of the salvage service. The suggestion that the *Cape Providence* should have turned and steamed away from the salvage tug which was on its way towards her in order to reduce the interval before the *Great Peace* was in attendance is unrealistic.

Next Mr Reeder submitted that it was not legitimate for the judge to have regard to the fact that the defendants did not want to cancel the agreement with the *Great Peace* until they knew whether they could get a nearer vessel to assist. We do not agree. This reaction was a telling indication that the fact that the vessels were considerably further apart than the defendants had believed did not mean that the services that the *Great Peace* was in a position to provide were essentially different from those which the parties had envisaged when the contract was concluded. The *Great Peace* would arrive in time to provide several days of escort service. The defendants would have wished the contract to be performed but for the adventitious arrival on the scene of a vessel prepared to perform the same services. The fact that the vessels were further apart than both parties had appreciated did not mean that it was impossible to perform the contractual adventure.

The parties entered into a binding contract for the hire of the *Great Peace*. That contract gave the defendants an express right to cancel the contract subject to the obligation to pay the "cancellation fee" of five days' hire. When they engaged the *Nordfarer* they cancelled the *Great Peace*. They became liable in consequence to pay the cancellation fee. There is no injustice in this result.

For the reasons that we have given, we would dismiss this appeal.

Appeal dismissed.

[31.95] **Note**

Australian courts are divided on the question whether, following *The Great Peace*, there remains an equitable jurisdiction in Australian law to set aside contracts for common mistake. In *Australia Estates Pty Ltd v Cairns City Council* [2005] QCA 328, [52] and [64], Atkinson J (with whom Jerrard J agreed) expressed the view that the law as stated in *The Great Peace* should be applied (see also *Manna v Manna* [2008] ACTSC 10; *Menegazzo v PriceWaterhouseCoopers (A Firm)* [2016] QSC 94, [117]–[124]). In *Rees v Rees* [2016] VSC 452, on the other hand, McMillan J declined to follow what was said in *Australia Estates Pty Ltd v Cairns City Council* and granted rescission of a deed on the basis of a common mistake.

Svanosio v McNamara

[31.100] *Svanosio v McNamara* (1956) 96 CLR 186 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: Executors of a deceased's estate (the *vendor*) entered into a contract with Svanosio (the *purchaser*) under which they agreed to sell to him certain general law land together with a victualler's licence in respect of a hotel erected thereon. The purchase price was £5,000, with £800 apportioned to the land and £4,200 in respect of the licence and goodwill. No survey was made and "only a cursory examination" was made of the vendor's title. The conveyance was executed and the licence transferred. It was discovered a few months later that the hotel was in fact only partially built on the

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land conveyed and that a substantial part of it stood on unalienated Crown land. Both parties had assumed that the hotel was erected on the land described in the conveyance.

Svanosio commenced an action against the executors in which he claimed a declaration that the contract was void for mistake and orders setting aside the conveyance and for the repayment of the purchase price. Martin J dismissed the action. Svanosio appealed to the High Court.]

McTIERNAN, WILLIAMS AND WEBB JJ: [205] The obligation of the vendor under an open contract is to prove his title strictly but open contracts are now rare and contracts, as in the present case, usually contain stipulations relating to the proof of title and giving the vendor the right to rescind the contract if the purchaser takes an objection with which he is unable to comply. Really there are three stages in the sale of land, first the making of the contract of sale, secondly the interval between the making of the contract and its completion to allow the purchaser to investigate the title, to survey the land and make any relevant inquiries as for instance as to tenancies and thirdly the completion of the contract by the conveyance of the land and the payment of the purchase money. It is in this interval between the making of the contract and its completion that the purchaser has the opportunity of satisfying himself whether or not the vendor can make a good title to the whole of the land described in the contract and if he cannot of exercising such rights as are given to him by the contract or the general law. The contract may, as in the present case, provide to some extent for the rights and obligations of the parties where the vendor is unable strictly to perform his obligation to make a good title to the whole of the land [206] sold. Condition 5 of the Fourth Schedule provides that no mistake in the description measurements or area of the land shall invalidate the sale unless the vendor rescinds pursuant to the last preceding condition. It may be that, in the present case, even with this condition in the contract, the court would not have granted specific performance of the contract even with compensation at the suit of the vendors if the mistake had been discovered prior to completion and would have rescinded the contract if the purchaser had been unwilling to complete. Such questions could have arisen if the purchaser had objected in the second stage but it would be useless to discuss them now because the plaintiff did not object to the title as he could have done and in accordance with the third condition in the Schedule must be deemed to have accepted the title. Having accepted the title the plaintiff could have had the land surveyed prior to completion to be certain that the hotel was erected wholly on the land sold. But he neglected to do so. He proceeded blindly to complete the contract.

As it has been said the contract contemplated and provided for a mistake in the description of the land. It gave a right to compensation in that event provided compensation was claimed at the proper time. But the contention is that the contract, nevertheless, was void or voidable because it would not have been entered into but for the mistaken belief of both parties that the hotel building stood wholly on the subject land. Such a mistaken belief could not possibly avoid a contract which contemplates and provides for it. In *Bell v Lever Bros Ltd* [1932] AC 161, Lord Atkin, in discussing the effect of mistake upon the validity of a contract, after referring to *Cooper v Phibbs* (1867) LR 2 HL 149, to which reference will be made hereafter, said: "Even where the vendor has no title, though both parties think he has, the correct view would appear to be that there is a contract: but that the vendor has either committed a breach of a stipulation as to title, or is not able to perform his contract. The contract is unenforceable by him but is not void": [1932] AC 161 at 218. The peculiar nature of a contract for the sale of land, and in particular the opportunity given to the purchaser of investigating the title and his right to rescind the contract if the vendor fails to show a good title and his alternative right if he so chooses to accept such title as the vendor has, and complete the contract either with or without compensation, places a contract for the sale of land in a special category. Upon the execution of the conveyance the rights and obligations of the parties under the contract are merged in the conveyance except in so far as the contract provides expressly or [207] impliedly that merger shall not take place, for instance where it is intended that a right to compensation given by the contract may be exercised even after completion: *Knight Sugar Co Ltd v Alberta Railway & Irrigation Co* [1938] 1 All ER 266 at 269. As a result the rights of a purchaser against the vendor, apart from those which arise under covenants for title, for quiet enjoyment etc, included in the conveyance itself or implied by statute, are very limited.

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It is clear that a contract for the sale of land cannot be set aside on the ground that the purchaser was induced to enter into it by an innocent material misrepresentation or on the ground that the vendor has innocently concealed some defect of title after completion has taken place. Actual fraud must be proved … The finality of the transaction after conveyance has been emphasised in many cases …. It may be possible in exceptional cases to obtain relief on the ground of common mistake after a contract for the sale of land has been completed. But the cases must be very rare. They are unlikely to go beyond cases where there has been a total failure of consideration. One case is where it is found, after completion, that the purchaser and not the vendor is the owner of the land so that the purchaser is really paying for his own property. In *Bingham v Bingham* (1748) 1 Ves Sen 126; 27 ER 934, (see also Belts Supplement Ves Sen Supp 79; 28 ER 462), the plaintiff had contracted to purchase land from the defendant, to which the defendant had no title although he believed that he had, which was the property of the plaintiff. The defendant conveyed the land to the plaintiff by deed of lease and re-lease. It was contended that it was the plaintiff's own fault as the title deeds had been produced to him and he had had time to examine the title and the maxim caveat emptor applied. But it was held that there was a plain mistake and a court would not suffer the defendant to run away with the money in consideration of the sale of an estate to which he had no right. This was a case where the mistake was so fundamental that there was a total failure of consideration. The plaintiff had paid to the [208] defendant the purchase money for land which was the property of the plaintiff. In *Cooper v Phibbs* there was also a total failure of consideration. The plaintiff had agreed to lease a fishery of which he was, unknown to him, the tenant for life from the defendant who had no title at all to the property. In *Seddon v North Eastern Salt Co Ltd* [1905] 1 Ch 326, Joyce J … held that the court will not grant rescission of an executed contract for the sale of a chattel or chose in action on the ground of an innocent misrepresentation. This principle was applied to an executed lease by the Divisional Court in *Angel v Jay* [1911] 1 KB 666, and by Devlin J in *Edler v Auerbach* [1950] 1 KB 359. In *Solle v Butcher* [1950] 1 KB 671, however, decided six weeks later, the Court of Appeal by a majority (Bucknill LJ and Denning LJ, Jenkins LJ dissenting) held that an executed lease can be set aside on the ground that the parties were induced to enter into it by a common mistake … In *Leaf v International Galleries* [1950] 2 KB 86, however, both [209] Evershed MR and Jenkins LJ reserved their opinions whether *Seddon v North Eastern Salt Co Ltd* was wrongly decided. We should certainly reserve our opinion on this point as it does not arise directly in the present case. In the case of the sale of land at any rate, relief has never been given on the ground of innocent misrepresentation after the contract has been executed and it is difficult to see why common mistake, unless it leads to a total failure of consideration, should be in any different position. There are dicta in the cases that relief can be given after the contract has been completed where there is a common mistake upon a material point although there is only a partial failure of consideration: *Jones v Clifford* (1876) 3 Ch D 779; *Bettyes v Maynard* (1882) 46 LT 766 at 769; *Debenham v Sawbridge* [1901] 2 Ch 98 at 109. But the proper principle appears to be that, in the case of a completed contract of sale, rescission is only possible on the ground of common mistake where, contrary to the belief of the parties, there is nothing to contract about as in *Bingham v Bingham* and *Cooper v Phibbs*.

Contracts for the sale of personal property have been said to be void for mistake where the property has ceased to exist at the date of the contract. Instances of such contracts will be found in the speech of Lord Thankerton (at 236) in *Bell v Lever Bros Ltd*. In *Scott v Coulson* [1903] 1 Ch 453 (affirmed [1903] 2 Ch 249), both parties supposed the assured to be alive whereas he was dead. In *Couturier v Hastie* (1856) 5 HLC 673; 10 ER 1065, the cargo sold was held not to have existed at the date of the sale. In *Strickland v Turner* (1852) 7 Ex 208; 155 ER 919, the annuitant was in fact dead at the date of the sale of the annuity. These are all cases where the subject matter was not in existence at the date of the sale. But even in these cases the contract is probably not void but merely unenforceable. The one party is unable to supply the very thing that the other party contracted to take and therefore the contract is unenforceable by the one if executory, while if executed the other can recover back money paid on the ground of total failure of consideration: *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377 at 403–8. But it would be hard to find an analogous example in the case of land because land does not cease to exist unless one can take the somewhat fanciful example suggested by Richards CB

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in *Hitchcock v Giddings* (1817) 4 Price 135; 146 ER 418, of an estate swept away by a flood. In *Bettyes v* [210] *Maynard*, Kay J referred to *Earl Beauchamp v Winn* (1873) LR 6 HL 223, as a case of a completed contract but, with all respect to that learned judge, the transaction does not appear to have proceeded beyond a contract for the exchange of two properties. In *Solle v Butcher* Denning LJ referred to the Privy Council setting aside an executed agreement in *MacKenzie v Royal Bank of Canada* [1934] AC 468, but, with all respect to that learned judge, the Privy Council does not seem to have done more than set aside a contract of guarantee on the ground of a material misrepresentation of fact. Shares were hypothecated to the bank as security for the performance of that contract but the rights of the parties depended on the guarantee and therefore rested in the contract. Neither of these cases appears really to support the conclusion that an executed contract for the sale of property can be rescinded for innocent material misrepresentation or for material common mistake. The only authority for that principle appears to be the decision of the majority of the Court of Appeal in *Solle v Butcher*, and from the scope of that decision completed contracts for the sale of land are carefully excluded. All that Scrutton LJ said about *Seddon v North Eastern Salt Co Ltd*, in *Lever Bros Ltd v Bell* (at 588) was that he reserved liberty to consider the decision so far as it decides that executed contracts cannot be rescinded for innocent and material misrepresentation. He did not seriously examine its correctness. The decision of the Court of Appeal was reversed on appeal by the House of Lords so that it is difficult to see why the observations of Joyce J in *Seddon's* case should have lost all authority simply because Scrutton LJ threw doubt upon them. In *Legge v Croker* (1811) 1 Ball & B 506, Manners LC held that an executed lease could not be set aside on the ground that the lessee had been induced to enter into it by a material but innocent misrepresentation. This decision seems to be in conflict with that of the Court of Appeal in *Solle v Butcher* yet *Legge v Croker* which was followed in *Angel v Jay* received the approval of Lord Selborne LC in *Brownlie v Campbell* (1880) 5 App Cas 925 at 938. At least it could be said that in the case of a sale of land nothing has occurred to throw doubt on the statement of Cozens Hardy J, as he then was, in *Re Tyrell; Tyrell v Woodhouse* (1900) 82 LT 675 at 675:

> counsel have not been able to discover a single instance of setting aside a purchase after conveyance except because of fraud or total failure of consideration as in [211] *Bingham v Bingham* and *Hitchcock v Giddings* (1817) 4 Price 135; 146 ER 418. In *Jones v Clifford* the court carefully guarded against deciding anything on this point. If I were to say mutual mistake, not being an error in the substance of what was purchased, justified rescission, every purchaser would be applying to get his purchase set aside. I am not prepared to be the first to give such a decision, and my own view is that there is no jurisdiction to set aside the purchase.

In the present case there was at most a partial failure of consideration. The defendants have been able to convey the whole of the land comprised in conveyance No 176, book 221 on which a large part of the hotel is erected, to give the plaintiff vacant possession of the hotel and the licence has been transferred to him. The contract between the parties was never void. It was at most liable to be set aside in equity not on the ground of mistake but for failure by the vendors to show a good title. A vendor need not have a good title at the date of the contract, it is sufficient if he can show that he can make title at the proper time for completion. A vendor can enter into a valid contract to sell land although he has no title at all. If he can enter into such a contract when he knows that he has none, how can it be said that the contract is void if he mistakenly believes that he has a good title? The purchaser can waive, if he chooses, all objections to the title and compel the vendor to execute a conveyance of the land even if he has no title to it at all. The purchaser may think it worth his while to complete the purchase simply to obtain vacant possession of the land taking his chance of it ripening into a possessory title in the future, or he may be prepared to take the chance of the vendor acquiring a good title in the future in which case equity would compel the vendor to make good his promise to convey the land to the purchaser when he subsequently acquired it. "A graft into the old stock" as the Master of the Rolls called it in *Seabourne v Powel* (1686) 2 Vern 11 at 12; 23 ER 619 at 620, as long ago as 1686. The principle is stated in *Smith v Osborne* (1857) 6 HLC 375 at 390; 10 ER 1340 at 1347.

Svanosio v McNamara cont.

The present case on analysis falls completely within the principle that, after the contract has been completed by the execution of the conveyance and the payment of the purchase money, the purchaser, apart from rights arising from the deed of conveyance or subsisting under the contract which do not merge in the deed, has no remedy at law or in equity in respect of any defects either in the title to or in the quantity or quality of the estate: *Brett v Clouser* (1880) 5 CPD 376 at 386–9. The conveyance having been executed the purchaser must take all the consequences: *McCulloch v Gregory* (1855) 1 K & J 286 at 291; 69 ER 466 at 468.

The appeal should be dismissed with costs.

[DIXON CJ and FULLAGAR J delivered a similar judgment in which they came to the conclusion that the appeal should be dismissed.]

Appeal dismissed.

[31.105] **Note**

In *Svanosio v McNamara* (1956) 96 CLR 186, 195–6, Dixon CJ and Fullagar J stated that "it is difficult to conceive any circumstances in which equity could properly give relief by setting aside the contract unless there has been fraud". This reference to fraud was presumed by Mason ACJ, Murphy and Deane JJ in *Taylor v Johnson* (1983) 151 CLR 422, 431, to mean "fraud" in the wide equitable sense which includes unconscionable dealing.

RECTIFICATION FOR COMMON MISTAKE

[31.110] Sometimes, when parties reduce their agreement to writing, they fail to record their common intention accurately. Courts have an equitable power to *rectify* a written contract where the terms do not express the parties' common intention. As Campbell JA noted in *Franklins Pty Ltd v Metcash Trading Ltd* [2009] NSWCA 407; (2009) 76 NSWLR 603, [444], equity permits rectification in such circumstances because "it is unconscientious for a party to a contract to seek to apply the contract inconsistently with what he or she knows to be the common intention of the parties at the time that the written contract was entered".

Maralinga v Major Enterprises

[31.115] *Maralinga Pty Ltd v Major Enterprises Pty Ltd* (1973) 128 CLR 336 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: Major Enterprises (the *respondent*) submitted for sale at auction a residential property at Vaucluse, Sydney. It was knocked down to Maralinga (the *appellant*) for $155,000. Before the sale, it had been made known to the appellant that the contract would incorporate the conditions contained in the standard form of contract approved by the Real Estate Institute of New South Wales. At the auction, the auctioneer stated that a deposit of 10 per cent of the price was to be paid on the signing of the contract and that the sale was subject to Special Condition 23 which he read out, as follows: "The property is sold subject to the demolition of all buildings and improvements to ground level by the Vendor Company at its own expense." He went on to say that the purchaser would have the option of requiring the vendor to demolish the very large house which was on the land. He added

Maralinga v Major Enterprises cont.

that the respondent was offering finance, that it required a cash payment of $75,000 and would allow the balance of the purchase price to remain on first mortgage over three years at 8 per cent fixed interest. The draft contract provided for the payment of the balance of the purchase price on completion and did not contain a provision for any part of the price to remain on mortgage for three years. The appellant was aware of the contents of the draft contract.

At the conclusion of the sale Mr Mutton, who signed the contract on behalf of the appellant, sought to obtain an alteration in Special Condition 23. He wanted the condition to more clearly reflect the notion that the purchaser had an option to require the vendor to demolish the building on the site, as the appellant wished to purchase the property as a residence for Mr Walsh, its principal shareholder. On the instructions of Mr Brady, the managing director of the respondent, this request was met with a curt refusal: "Sign it as it is or the deal is off." Faced with Mr Brady's ultimatum, Mr Mutton signed the contract in the form in which it had been presented.

The appellant sued for rectification and specific performance of the contract as rectified. The appellant sought to have the contract rectified in two respects: first, so that Special Condition 23 conferred an option on the purchaser to require the vendor to demolish the house on the land; secondly, so that in lieu of payment of cash on completion provision was made for a mortgage back to the vendor in the sum of $64,500 for three years at 8 per cent per annum.

The trial judge, Hope J, found that when Mr Mutton signed the contract he knew that it contained Special Condition 23 and provision for payment of cash on completion and that it did not contain the two provisions which the appellant now sought to have included in the contract. However, the judge also found that at the time Mr Mutton believed that Special Condition 23, although not clearly worded, would be interpreted as conferring an option on the purchaser. It was for this reason that Mr Mutton signed the contract without insisting on the amendment which he had proposed. The judge found further that Mr Mutton believed that the auctioneer's statement that $64,500 would be available on mortgage back to the vendor for three years at 8 per cent fixed interest per annum was enforceable as a warranty forming part of the contract or collateral to it. Although the statement conflicted with an express term of the written contract calling for the payment of cash on completion, Mr Mutton evidently attributed no significance to that circumstance and, accordingly, did not request an amendment to the contract to cover the point.

Hope J expressed the view that rectification would have been available so far as special condition 23 was concerned but not as to the terms of payment; and as there was no request for performance of the contract rectified only as to the option, he dismissed the suit. The appellant appealed to the High Court.]

MASON J: [348] The appellant's case is that it is entitled to rectification and specific performance on the ground that at the conclusion of the auction the parties had arrived at an oral, albeit unenforceable contract, incorporating the terms which it now seeks to have included in it. The written instrument does not accord with the antecedent agreement and should be reformed so as to give accurate expression to it, so the argument runs.

The first step in the argument is the proposition that the written instrument was intended by the parties merely to record the terms of the bargain reached when the property was knocked down to the appellant. The primary judge did not make a finding on this issue of fact, perhaps because the evidence did not lend itself to such a finding, but he came to conclusions which are relevant to it. His Honour found that Mr Mutton in signing the contract believed that he was executing a written instrument which, when taken together with the warranty as to finance which he considered to be enforceable, gave effect to the terms of the auction sale. But his Honour made it equally clear that Mr Mutton knew that the contract contained an inconsistent provision.

[349] The intentions of the respondent with respect to the written instrument are not as clear, because those acting for the respondent did not give evidence. The primary judge said, with reference to Mr Brady:

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> In insisting upon the execution of the contract in the form which had been prepared, he was requiring the purchaser to sign a contract which he knew to be different in its effect to the basis on which the property had been knocked down to the purchaser, and I think that his firm decision as to the contract was the reason why he refused even to read Mr Mutton's draft clause which Mr Pillinger brought to show him.

Although Mr Brady did not give evidence, I am not persuaded that his Honour's conclusion was incorrect.

In these circumstances the statement that the written instrument was signed merely to record the terms of the oral bargain is in my view neither sufficient nor accurate. Both parties knew that the written instrument contained a provision for payment of cash on completion and that it differed from the terms of the antecedent bargain; yet they signed it. So in this respect the written instrument was not executed as the result of a mistaken belief as to what it contained. Mr Mutton was mistaken as to its effect but not as to its contents.

The conditions according to which relief by way of rectification will be granted have been variously stated. In *Fowler v Fowler* (1859) 4 De G & J 250 at 265; 45 ER 97 at 103, Lord Chelmsford LC said that the person seeking rectification must establish clearly: "that the alleged intention to which he desires [the instrument] to be made conformable continued concurrently in the minds of all parties down to the time of its execution, and also must be able to shew exactly and precisely the form to which the deed ought to be brought."

On other occasions statements have been made which emphasise that it is for the plaintiff to show that by the writing sought to be rectified the parties intended to record the terms of an antecedent oral bargain and that by common mistake there is a disconformity between the oral bargain and the writing: *United States of America v Motor Trucks Ltd* [1924] AC 196 at 200 per Earl of Birkenhead.

The difference in expression is not of importance. It is explained partly by the difference in the character of written instruments sought to be rectified and partly by the more recent desire to emphasise that the remedy is designed to relieve against the mistaken expression of the true agreement of the parties.

As Buckley LJ said in *Lovell and Christmas Ltd v Wall* (1911) 104 LT 85 at 93: [350] "For rectification it is not enough to set about to find what one or even both of the parties to the contract intended. What you have to find out is what intention was communicated by one side to the other, and with what common intention and common agreement they made their bargain."

What is of importance is that the purpose of the remedy is to make the instrument conform to the true agreement of the parties where the writing by common mistake fails to express that agreement accurately. And there has been a firm insistence on the requirement that the mistake as to the writing must be common to the parties and not merely unilateral, except in cases of a special class to which I shall later refer.

It is now settled that the existence of an antecedent agreement is not essential to the grant of relief by way of rectification. It may be granted in cases in which the instrument sought to be rectified constitutes the only agreement between the parties, but does not reflect their common intention: *Shipley Urban District Council v Bradford Corporation* [1936] Ch 375; *Slee v Warke* (1949) 86 CLR 271. But this circumstance does not affect what I have already said.

The strength of the appellant's case is that at the conclusion of the auction there was a valid albeit unenforceable agreement between the parties and the written instrument does not conform to it. Moreover, at all times up to the conclusion of the auction, the parties intended that a written contract would be executed to record the terms of the auction sale.

Even so, in order to succeed the appellant must show that the parties intended by the writing to give effect to the whole of the antecedent agreement and that by common mistake it failed to do so …

Maralinga v Major Enterprises cont.

It may be asked why should a plaintiff be required to establish more than disconformity between the antecedent agreement and the written instrument. Why should he be called upon to show that the writing was intended to give effect to the whole of the oral [351] contract and that by common mistake the written instrument failed to do so? The answer lies in the circumstance that the court must be satisfied that the instrument does not reflect the true agreement of the parties. It cannot be so satisfied unless the writing was intended to record the earlier agreement and by the mistake of the parties it fails to do so. If the plaintiff fails to establish these elements he does not displace the hypothesis arising from execution of the written instrument, namely, that it is the true agreement of the parties.

Mr Mutton did not intend to give effect to the entire antecedent agreement by the writing. He was content to allow the auctioneer's statement as to finance to remain apart from the written contract. Furthermore, the appellant and the respondent, knowing through Mr Mutton and Mr Brady respectively that the contract contained a provision requiring payment of cash on completion, executed the contract with that knowledge.

Accordingly, the appellant has not shown that in this respect the instrument was intended to record the antecedent oral agreement or that the instrument by common mistake failed to conform to that agreement. The parties assented to a provision calling for payment of cash on completion which differed from that agreement. They were not mistaken as to the contents of the written instrument. Although Mr Mutton was mistaken in the reason which led him to accept the contract in its written form, the unilateral mistake which he made as to its legal effect was not a mistake of the kind that grounds rectification.

An alternative argument was advanced by the appellant based on a series of authorities which are said to decide that if one party to a transaction knows that the instrument contains a mistake in its favour but does nothing to correct it, he will be precluded from asserting that the mistake is unilateral and not common. In my opinion this principle has no application to this case as there was no relevant mistake on the part of the appellant as to the contents of the written contract.

In the result I am of opinion that the primary judge was correct in concluding that the appellant was not entitled to rectification by inserting in the contract a provision for finance conforming to the auctioneer's statement. There is little point in considering the appellant's case in so far as it relates to Special Condition 23 as the [352] appellant has always insisted on performance of the contract on the footing that it contained, or should contain, the provision for finance, but for my part I do not consider that the appellant established a case for rectification of the Special Condition.

Accordingly, I would dismiss the appeal.

[MENZIES J agreed with Mason J. BARWICK CJ dissented.]

Appeal dismissed.

Pukallus v Cameron

[31.120] *Pukallus v Cameron* (1982) 180 CLR 447 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: The parties entered into a written contract for the sale of land described as "Subdivision 1 of Portion 1154". Both parties believed that subdivision 1 included a bore and an area of cultivated land which they inspected together before the contract was signed. After the sale was completed, the purchaser discovered that the area of land in question was part of subdivision 2. The purchaser sought rectification of the contract. The trial judge ordered rectification of the contract on the following basis:

Pukallus v Cameron cont.

> by omitting from the description of the property the reference to area and by including in the description all that land south of the boundary between Subdivisions 1 and 2 of Portion 1154 which lies north of a line drawn parallel to it across Subdivision 2 passing through the southernmost point of the 27 acres of agricultural land mentioned in the Statement of Claim.

The vendor successfully appealed to the Full Court of the Supreme Court of Queensland. The purchaser appealed to the High Court.]

WILSON J: [452] The case raises no issue as to the principles which govern the rectification of a contract. Those principles are not in dispute. There need not be a concluded antecedent contract, but there must be an intention common to both parties at the time of contract to include in their bargain a term which by mutual mistake is omitted therefrom: *Crane v Hegeman-Harris Co Inc*, [1939] 1 All ER 662, 664; *Slee v Warke* (1949) 86 CLR 271, 280; *Joscelyne v Nissen* [1970] 2 QB 86, 98; *Maralinga Pty Ltd v Major Enterprises Pty Ltd* (1973) 128 CLR 336, 350. So long as there is a continuing common intention of the parties, it may not be necessary to show that the accord found outward expression, notwithstanding the views expressed to the contrary in *Joscelyne* [1970] 2 QB, 98, and *Maralinga* (1973) 128 CLR, 350. The opposing view is argued by Mr Bromley QC in an article in the *Law Quarterly Review* [Leonard Bromley, "Rectification in Equity" (1971) 87 LQR 532]. It is unnecessary to pursue the distinction in the present case because the representation of the respondent and its acceptance by the appellants plainly established such an accord.

The second principle governing the rectification of a contract which is material to this case is that which requires the plaintiff to advance "convincing proof" (12) that the written contract does not embody the final intention of the parties. The omitted ingredient must be capable of such proof in clear and precise terms: *Australian Gypsum Ltd and Australian Plaster Co Ltd v Hume Steel Ltd* (1930) 45 CLR 54, 64; *Slee v Warke* (1949) 86 CLR, 281; *Maralinga* (1973) 128 CLR, 349. The Court must not assume for itself the task of making the contract for the parties.

[453] … There is no evidence to support a finding of an intention to contract for the sale of the bore and cultivated area. The intention was to effect a transfer of subdivision 1 of Portion 1154, a parcel of land which was thought erroneously, to include the bore and cultivated area. If the mistake had been discovered before the conveyance was effected, the appellants could no doubt have avoided the contract. In view of the uncertainty surrounding the location of the boundary which was manifest throughout the negotiations it would clearly have been prudent for the appellants to have undertaken their own survey or to have insisted on the respondent fulfilling his undertaking in that regard. The conditions of the contract which I have set out, excepting the paragraph numbered 33, emphasize both the customary opportunity and the responsibility resting on a purchaser of land.

Secondly, even if a new boundary was in contemplation, the appellants face the difficulty of proving the precise term which it is said was agreed between the parties and which through mutual mistake was not incorporated in the written contract. It is not enough merely to prove that the bore and twenty-seven acres of cultivated land were intended to be included in the land the subject of the sale. Although the learned trial judge made a finding in those terms, he recognized that the evidence required the fixation of a new boundary line parallel to the present southern boundary to subdivision 1. The evidence led for the appellants failed to establish such a line with any clarity.

[31.125] BRENNAN J: [457] In the present case, the parties had not identified, by reference to fences or other topographical features, the precise boundaries of the parcel the subject of the sale before they entered into the written contract. That contract identified the parcel according to its survey description, and no antecedent common intention was proved to displace the hypothesis that the survey description expresses the true contractual intention of the parties. On the contrary, the hypothesis is strengthened by cl 33 which provides that the vendor should reposition on the true southern boundary of subdivision 1 a fence which had been erected in the vicinity but not on that boundary.

Rectification of the contract to include a parcel of land lying outside and to the south of subdivision 1 could not be decreed merely on proof that the parties mistakenly believed that the bore and the

Pukallus v Cameron cont.

cultivation lay within the boundaries of subdivision 1. Rectification could be decreed only upon proof that the parties intended that a further parcel of land, precisely identified, was to be included in the sale. In the absence of evidence of such an intention, the claim for rectification was bound to fail. There was no evidence tending to show that Mr Pukallus and Mr Cameron had agreed on a southern boundary corresponding with that fixed by the order of the learned trial judge. The mistake shared by Mr Pukallus and Mr Cameron was not a mistake as to the embodying of their [458] intention in the written contract. The only mistake was a mistake as to what features were within the boundaries of the land sold.

It follows that the order for rectification and the consequential orders made by the learned trial judge were rightly set aside by the Full Court.

[GIBBS CJ delivered a short judgment agreeing with Wilson J. MURPHY J dismissed the appeal on the basis that equitable relief is not available to set aside a conveyance of land made under a written contract "except for fraud or total failure of consideration or what practically amounts to total failure of consideration", citing *Svanosio v McNamara* (1956) 96 CLR 186, 198 and 206–12.]

Appeal dismissed.

[31.128] Notes

1. The decision in *Pukallus v Cameron* should not be understood to mean that the mistake must relate to the words used, rather than their legal effect. The authorities were extensively reviewed by the New South Wales Court of Appeal in *Commissioner of Stamp Duties v Carlenka Pty Ltd* (1995) 41 NSWLR 329. In that case an amendment to a trust deed was intended to permit the distribution of income to a particular beneficiary. The words used had the additional unintended effect of entitling the beneficiary to share in the capital of the trust and this had adverse stamp duty consequences. The trial judge rectified the document by adding words that prevented the distribution of capital to the beneficiary. The Court of Appeal upheld the order for rectification, notwithstanding that the party signing the document intended to execute it in that form. The court concluded (at 340 and 343) that rectification overcomes "mistaken expression of the true agreement" and is available where the parties have deliberately "used words which, when properly construed, do not accord express their true intention". Rectification is available where the parties are mistaken as to the meaning or effect of the words they have used. The crucial requirement is that there must be a lack of correspondence between the form of the document and the common intention of the parties.
2. Rectification for common mistake was granted by the High Court in *Simic v New South Wales Land and Housing Corporation* [2016] HCA 47; (2016) 260 CLR 85. Performance bonds were issued by a bank pursuant to a construction contract entered into by the bank's customer. By mistake, the bonds were expressed to be in favour of "New South Wales Land & Housing *Department*" (a non-existent government department) rather than "New South Wales Land & Housing *Corporation*". They were rectified to accord with the intentions of the bank and its customer. Gageler, Nettle and Gordon JJ said:

> [103] Rectification is an equitable remedy, the purpose of which is to make a written instrument "conform to the true agreement of the parties where the writing by common mistake fails to express that agreement accurately" (*Maralinga Pty Ltd v Major Enterprises Pty Ltd* (1973) 128 CLR 336, 350; see also *Codelfa Construction Pty Ltd v State Rail Authority (NSW)* (1982) 149 CLR 337, 346). For relief by rectification, it must be demonstrated that, at the time of the execution of the written instrument sought to be rectified, there was an "agreement" between the parties in the sense that the parties had a "common intention", and that the written instrument was to conform to that agreement (*Slee v Warke* (1949) 86 CLR 271, 281; *Maralinga* (1973) 128 CLR 336, 350-351). Critically, it must also be demonstrated that the written instrument does not reflect the "agreement" because of a common mistake (*Maralinga* (1973) 128 CLR 336, 350-351). Unless those elements are established, the "hypothesis arising from execution of the written instrument, namely, that it is the true agreement of the parties" cannot be displaced (*Maralinga* (1973) 128 CLR 336, 350-351).
>
> [104] The issue may be approached by asking – what was the actual or true common intention of the parties (*Ryledar Pty Ltd v Euphoric Pty Ltd* (2007) 69 NSWLR 603, 642 [182], [185])? There is no requirement for communication of that common intention by express statement (*Bishopsgate Insurance Australia Ltd v Commonwealth Engineering (NSW) Pty Ltd* [1981] 1 NSWLR 429, 431; *Bush v National Australia Bank Ltd* (1992) 35 NSWLR 390, 405–406), but it must at least be the parties' actual intentions, viewed objectively from their words or actions, and must be correspondingly held by each party (*Bush v National Australia Bank Ltd* (1992) 35 NSWLR 390, 405-406). (Footnotes omitted)

3. In his influential judgment in *Ryledar Pty Ltd v Euphoric Pty Ltd* [2007] NSWCA 65; (2007) 69 NSWLR 603, [273]–[315], Campbell JA made a strong argument that, because rectification is concerned to prevent unconscientious departure from a "common intention", the parties' intentions must be sufficiently disclosed to one another to be understood as "common". His Honour also set out the following propositions:

> [182] It follows from the foregoing that first, the common intention which must be established by clear and convincing proof to justify rectification must be the actual or true common intention of the parties. Second, evidence of that intention may be ascertained not only from the external or outward expressions of the parties manifested by their objective words or conduct but also from evidence of their subjective states of mind.
>
> [183] Third, where, for instance, the correspondence between and/or conduct of the parties establishes a positive lack of an "objective" common intention, then that evidence must be taken in conjunction with the evidence (if any) of their subjective states of mind to determine whether the necessary common intention has been established. In the example posited, that would be highly unlikely.
>
> [184] Fourth, in *Westland Savings Bank v Hancock* [1987] 2 NZLR 21, 31 it was held by Tipping J that a party subsequently acting as if the instrument stood in the form into which it is sought to be rectified was strong evidence of that party's intention at the time to execute the instrument in its rectified form. Such conduct is obviously of significance but, depending on other evidence, if any, is not necessarily conclusive although in the absence of any such evidence it may be.
>
> [185] Fifth, it follows that where the correspondence and/or conduct positively establishes the necessary common intention, then assertions by the party opposing rectification of his or her subjective state of mind which is inconsistent with that party's outward manifestation of his or her intention, being unexpressed and uncommunicated, is unlikely to trump his or her expressed intention. But this is because that party is unlikely to be believed.

> [186] Sixth, whereas in the present case, the outward expression of the parties' common intention is at best inconclusive, then establishing that the subjective states of mind of the parties evinces the relevant common intention becomes critical if the necessary standard of proof to support an order for rectification is to be achieved.
>
> [187] I would therefore reject [the appellant's] submission that rectification in the present case must be ordered where an outward expression of the parties' common intention is said to be established by their correspondence and conduct notwithstanding the primary judge's finding that that intention was not in fact held by one or both parties in terms of their respective subjective states of mind.

4. For recent developments in English law on these issues, see *FSHC Group Holdings Ltd v Glas Trust Corporation Ltd* [2019] EWCA Civ 1361.

MUTUAL MISTAKE

[31.130] We are now concerned with situations where the parties are so much at cross purposes that it can be said that, subjectively speaking, they are *not in agreement*; for example, they intend to contract on different terms. As noted earlier in this chapter, mistakes of this kind are described as either *mutual* or *unilateral*.

If A offers B a painting for US$5,000 and B accepts the offer, mistakenly thinking the price is AU$5,000, there is no *actual* coincidence of offer and acceptance. The mistakes are *mutual* in the sense that, assuming A did not know of B's mistake about the price, the parties are mistaken about each other's intentions. The effect of such mistakes tends to be resolved by common law construction principles. Adopting the objective approach used to construe contracts, the question becomes: "Did B appear to accept the US$5,000 offer?" If B did, then there would be a valid contract on A's terms despite B's mistake. If B then refuses to complete because she was mistaken, she will be in breach of the contract.

There are, however, situations in which principles of contractual interpretation do not clearly establish that one party was correct and the other mistaken. The mistake remains mutual. In *Raffles v Wichelhaus* (1864) 2 H & C 906; 159 ER 375, the defendant agreed to purchase 125 bags of cotton "to arrive ex 'Peerless' from Bombay". When the cotton arrived in London, the defendant refused to accept delivery. His defence was that he had been ready to receive cotton from the Peerless that sailed from Bombay in October, but the plaintiff proffered cotton from a different ship of the same name that left Bombay in December. The court gave judgment for the defendant but did not explain its reasons for doing so. It apparently accepted the argument that as each party intended a different ship, there was no consensus. It appears that no common intention could be objectively inferred from the conduct of the parties and the words of their agreement – the contract did not clearly identify which ship the goods were to be transported on other than by name. Because of the ambiguity, the agreement failed to meet the certainty requirement (see Chapter 6). Thus, no contract was formed. The mistaken party is not bound by the contract but this does not mean the court provided relief against mistake. Rather, under the ordinary principles of contract formation, no contract was formed.

Equity follows the law with regard to *mutual* mistakes. As the non-mistaken party is unaware of the mistake, there is no equitable basis for interfering with the common law outcome.

UNILATERAL MISTAKE AS TO TERMS: COMMON LAW (VOID) AND EQUITY (RESCISSION)

[31.135] Where the parties, subjectively speaking, are not in agreement, but the understanding of one of the parties accords with what a reasonable person would think was intended (ie that party's understanding reflects the correct objective interpretation of the contract), the mistake is described as *unilateral*.

As with *common mistakes*, the common law typically resolves instances of *unilateral mistake* through construction of the contract. To return to the painting example in the previous section, if a reasonable person would understand the buyer of a painting to have agreed to pay $US5,000 as the price of the painting, the buyer is bound to pay that price even if he or she thought the price was AU$5,000. The outcome may be different, however, if the non-mistaken party knows of the mistake. In *Chwee Kin Keong v Digiland.com Pte Ltd* [2005] SGCA 2; [2005] 1 SLR 502, the respondent had mistakenly posted the price of commercial laser printers on its website. It advertised the printers at $66 when in fact the model in question typically sold for well over $3,000. The description of the printer simply read "*55*". The appellants placed between them orders over the internet for 1,606 commercial laser printers. When the respondent became aware of the mistake it informed all customers who had placed orders that it would not be meeting the orders. The respondents unsuccessfully argued that the contract was conditional upon the printers being available. However, a separate argument by the respondent that the contract was void at common law by reason of mistake was successful. Chao Hick Tin JA (who delivered the judgment of the Singaporean Court of Appeal) noted that this finding involved a departure from the objective approach employed by the common law to determine whether a contract has come into being. His Honour justified this departure (at [31]) by noting that:

> The reason behind this exception is self-evident, as a party who is aware of the error made by the other party cannot claim that there is *consensus ad idem*. The law should not go to the aid of a party who knows that the objective appearance does not correspond with reality. It would go against the grain of justice if the law were to deem the mistaken party bound by such a contract.

If one party knows the other is mistaken, is it appropriate to treat the contract as void at law (by relaxing the objective approach), or is it preferable to treat the contract as valid at law (under the objective approach) and voidable in equity (which is less concerned about responding to the subjective)? The resolution of this question requires an examination of the following two cases: *Smith v Hughes* (1871) LR 6 QB 597, extracted at [31.140]; *Taylor v Johnson* (1983) 151 CLR 422, extracted at [31.150].

Smith v Hughes

[31.140] *Smith v Hughes* (1871) LR 6 QB 597 (Court of Queen's Bench) – Appeal from the County Court.

[FACTS: The *plaintiff* offered to sell to the *defendant* oats and exhibited a sample; the defendant took the sample and on the following day wrote to say that he would take the oats at the price of 34s per quarter. The defendant afterwards refused to accept the oats on the ground that they were new, and he thought he was buying old oats. The plaintiff, who knew the oats were new, refused to take them back and sued for the price. There was a conflict of evidence as to what took place between the plaintiff and the defendant. The judge left two questions to the jury:

Smith v Hughes cont.

1. Was the word "old" used? If so, there should be verdict for the defendant.
2. If the word "old" was not used, did the plaintiff believe the defendant to be under the impression that he was contracting for old oats? If so, verdict for the defendant.

The jury found for the defendant. The plaintiff appealed on the ground that the judge's direction to the jury was incorrect.]

BLACKBURN J: [607] I apprehend that if one of the parties intends to make a contract on one set of terms, and the other intends to make a contract on another set of terms, or, as it is sometimes expressed, if the parties are not ad idem, there is no contract, unless the circumstances are such as to preclude one of the parties from denying that he has agreed to the terms of the other. The rule of law is that stated in *Freeman v Cooke* (1848) 2 Ex 654; 18 LJ (Ex) 119; 154 ER 652. If, whatever a man's real intention may be, he so conducts himself that a reasonable man would believe that he was assenting to the terms proposed by the other party, and that other party upon that belief enters into the contract with him, the man thus conducting himself would be equally bound as if he had intended to agree to the other party's terms.

The jury was directed that, if they believed the word "old" was used, they should find for the defendant; and this was right, for if that was the case, it is obvious that neither did the defendant intend to enter into a contract on the plaintiff's terms, [608] that is, to buy this parcel of oats without any stipulation as to their quality; nor could the plaintiff have been led to believe that he was intending to do so.

But the second direction raises the difficulty. I think that, if from that direction the jury would understand that they were first to consider whether they were satisfied that the defendant intended to buy this parcel of oats on the terms that it was part of his contract with the plaintiff that they were old oats, so as to have the warranty of the plaintiff to that effect, they were properly told that, if that was so, the defendant could not be bound to a contract without any such warranty, unless the plaintiff was misled. But I doubt whether the direction would bring to the minds of the jury the distinction between agreeing to take the oats under the belief that they were old, and agreeing to take the oats under the belief that the plaintiff contracted that they were old.

The difference is the same as that between buying a horse believed to be sound, and buying one believed to be warranted sound; but I doubt if it was made obvious to the jury.

[31.145] HANNEN J: [609] [O]ne of the parties to an apparent contract may, by his own fault, be precluded from setting up that he had entered into it in a different sense to that in which it was understood by the other party. Thus in the case of a sale by sample where the vendor, by mistake, exhibited a wrong sample, it was held that the contract was not avoided by this error of the vendor: *Scott v Littledale* (1858) 8 E & B 815; 27 LJ (QB) 201.

But if in the last mentioned case the purchaser, in the course of the negotiations preliminary to the contract, had discovered that the vendor was under a misapprehension as to the sample he was offering, the vendor would have been entitled to shew that he had not intended to enter into the contract by which the purchaser [610] sought to bind him. The rule of law applicable to such a case is a corollary from the rule of morality which Mr Pollock cited from Paley (*Moral and Political Philosophy*, Book III, ch v), that a promise is to be performed: "in that sense in which the promiser apprehended at the time the promisee received it", and may be thus expressed: "The promiser is not bound to fulfil a promise in a sense in which the promisee knew at the time the promiser did not intend it."

And in considering the question, in what sense a promisee is entitled to enforce a promise, it matters not in what way the knowledge of the meaning in which the promiser made it is brought to the mind of the promisee, whether by express words, or by conduct, or previous dealings, or other circumstances. If by any means he knows that there was no real agreement between him and the promiser, he is not entitled to insist that the promise shall be fulfilled in a sense to which the mind of the promiser did not assent.

Smith v Hughes cont.

If, therefore, in the present case, the plaintiff knew that the defendant, in dealing with him for oats, did so on the assumption that the plaintiff was contracting to sell him old oats, he was aware that the defendant apprehended the contract in a different sense to that in which he meant it, and he is thereby deprived of the right to insist that the defendant shall be bound by that which was only the apparent, and not the real bargain.

[COCKBURN CJ delivered a judgment in which he concluded that the trial judge was wrong in leaving the second question to the jury.]

Appeal allowed and order for a new trial.

Taylor v Johnson

[31.150] *Taylor v Johnson* (1983) 151 CLR 422 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: *Mrs Johnson* granted an option to *Mr Taylor* or his nominee to purchase two adjoining lots of vacant land, each comprising approximately five acres, for a total purchase price of $15,000. The option was exercised by Mr Taylor, and Mrs Johnson entered into a written contract for the sale of the land with Mr Taylor's nominees, his children. The purchase price was $15,000 as provided in the option. Subsequently, Mrs Johnson declined to perform the contract on the ground that she had mistakenly believed that the agreements provided for a price of $15,000 per acre of the subject land, which would have represented a total purchase price of approximately $150,000. The Taylors claimed specific performance and Mrs Johnson sought an order setting aside the contract of sale. Powell J found that the contract was binding on its terms and ordered specific performance. His Honour found that Mrs Johnson had in fact mistakenly believed that the consideration specified was $15,000 per acre but also found that Mr Taylor was unaware of her mistake. On appeal by Mrs Johnson to the New South Wales Court of Appeal, that court set aside the contract, holding that Mr Taylor believed that Mrs Johnson was probably mistaken as to what the option and contract stipulated as the price. Mr Taylor appealed to the High Court.]

MASON ACJ, MURPHY AND DEANE JJ: [428] The judgments of Blackburn and Hannen JJ in *Smith v Hughes* (1871) LR 6 QB 597 at 607, 609, provide support for the proposition that a contract is void if one party to the contract enters into it under a serious mistake as to the content or existence of a fundamental term and the other party has knowledge of that mistake. That approach accorded with what has been called the "subjective theory" of the nature of the assent necessary to constitute a valid contract: but compare Holland, *The Elements of Jurisprudence* (12th ed, 1916), pp 264–5. The "subjective theory", it will be recalled, was advanced by, among others, Williams in his *Vendor and Purchaser* (4th ed, 1936), p 748, fn (m), and is that the true consent of the parties is essential to a valid contract. The contrary view, namely that described as the "objective theory", was asserted by, among others, Holmes J in *The Common Law* (1881), Lecture IX, and is that the law is concerned, not with the real intentions of the parties, but with the outward manifestations of those intentions. In practice, as between the contracting parties, there is little difference in the result of the application of the two competing theories since allied with any assertion of the "subjective theory" is acceptance of one manifestation of the doctrine of estoppel which would ordinarily operate to preclude one, who had so conducted himself that a reasonable man would believe that he was assenting to the terms of a proposed contract, from leading evidence as to what his real intentions were.

As a matter of legal technique there is a significant difference between the two theories. This is best illustrated by setting out the [429] consequences which flow from the application of each theory to a case in which a contract is successfully impeached on the ground of unilateral mistake. According to the subjective theory, there is no binding contract either at common law or in equity, equity following

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the common law in this respect. Of course in deciding whether the contract is void ab initio for the unilateral mistake, regard will be had to the doctrine of estoppel in order to determine whether effect should be given to the claim that there has been unilateral mistake. On the other hand, according to the objective theory, there is a contract which, in conformity with the common law, continues to be binding, unless and until it is avoided in accordance with equitable principles which take as their foundation a contract valid at common law but transform it so that it becomes voidable. The important distinction between the two approaches is that, according to the subjective theory, the contract is void ab initio, whereas according to the objective theory, it is voidable only.

While the sounds of conflict have not been completely stilled, the clear trend in decided cases and academic writings has been to leave the objective theory in command of the field. It is unnecessary to examine the reasons for this. A convenient statement of them can be found in *Williston on Contracts* (3rd ed, 1970), vol 13, s 1537. In the United Kingdom, the decisive turning point leading to the near eclipse of the subjective theory was probably the speech of Lord Atkin in *Bell v Lever Bros Ltd* [1932] AC 161 at 217–27. In due course, Denning LJ, basing himself on Lord Atkin's speech, formulated a more general proposition than Lord Atkin's comments would, on analysis, warrant (see Lord Atkin's example of a case where "unilateral mistake by the seller of goods will prevent a contract from arising": at 217–18). In *Solle v Butcher* [1950] 1 KB 671 at 691, Denning LJ said:

> once a contract has been made, that is to say, once the parties, whatever their inmost states of mind, have to all outward appearances agreed with sufficient certainty in the same terms on the same subject matter, then the contract is good unless and until it is set aside for failure of some condition on which the existence of the contract depends, or for fraud, or on some equitable ground.

His Lordship then went on to say:

> Neither party can rely on his own mistake to say it was a nullity from the beginning, no matter that it was a mistake which to his mind was fundamental, and no matter that the other party knew that he was under a mistake.

While the mistake in *Solle v Butcher* was a mistake of fact which [430] affected the operation of a formal written contract, it is plain that the above remarks of Denning LJ were intended to extend to a mistake as to the existence or content of an actual term of such a contract.

In *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377 at 407–8, and in *Svanosio v McNamara* (1956) 96 CLR 186 at 195–6, which were cases involving formal written contracts, Dixon CJ and Fullagar J referred with approval to the remarks of Denning LJ. In *Svanosio*, their Honours quoted those remarks and continued (at 196):

> "Mistake" might, of course, afford a ground on which equity would refuse specific performance of a contract, and there may be cases of "mistake" in which it would be so inequitable that a party should be held to his contract that equity would set it aside. No rule can be laid down a priori as to such cases (see an article by Blackburn in (1955) 7 *Res Judicatae*, at 43). But we would agree with Shatwell (1955) 33 Can BR 186 at 187 that it is difficult to conceive any circumstances in which equity could properly give relief by setting aside the contract unless there has been fraud or misrepresentation or a condition can be found expressed or implied in the contract.

Denning LJ, in *Solle v Butcher*, had likewise expressed the view that, in the absence of fraud or misrepresentation, resort must be had to equity to escape from the terms of a contract on the ground of unilateral mistake.

McRae and *Svanosio*, like *Solle v Butcher*, were not cases involving a mistake as to the existence or content of an actual term of the written contract. There is, however, nothing in the joint judgments of Dixon CJ and Fullagar J which would exclude such a case from their acceptance of the general proposition that neither party to a contract "can rely on his own mistake to say it was a nullity from

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the beginning, no matter that it was a mistake which to his mind was fundamental, and no matter that the other party knew that he was under a mistake". Whether that proposition should properly be accepted as applying in the case of an informal contract or in the case where there is a mistake as to the identity of the other party are questions which can be left to another day. It would seem that it does not apply in a case where the mistake is as to the nature of the contract. For the present, but not without hesitation (see, for example, *Robert A Munro & Co v Meyer* [1930] 2 KB 312 at 333–4; *Chitty on Contracts* (24th ed, 1977), vol 1, para 337; *Joscelyne v* [431] *Nissen* [1970] 2 QB 86 at 95–7), we are prepared to accept it as applicable to a case, such as the present, where the mistake is as to the existence or content of an actual term in a formal written contract. It therefore becomes necessary to consider the scope of the basis upon which relief in equity is available from the contractual consequences of unilateral mistake. Dixon CJ and Fullagar J referred, in the above passage from their judgment in *Svanosio*, to a difficulty in conceiving circumstances in which equity could properly give relief by setting aside the contract unless there had been fraud or misrepresentation or a condition could be found expressed or implied in the contract. Presumably, their Honours were referring to "fraud" in the wide equitable sense which includes unconscionable dealing. If they were not, we do not share the difficulty to which they referred. To the contrary, it seems to us that the reported cases, including *Solle v Butcher* itself, readily provide concrete examples of such circumstances.

In *Torrance v Bolton* (1872) LR 8 Ch App 118 at 124, James LJ (with whom Mellish LJ agreed) explained the basis upon which a contract for sale was set aside in a case of unilateral mistake as being the ordinary jurisdiction of equity "to deal with" any instrument or other transaction "in which the court is of opinion that it is unconscientious for a person to avail himself of the legal advantage which he has obtained." Special circumstances will ordinarily need to be shown before it would be unconscientious for one party to a written contract to enforce it against another party who was under a mistake as to its terms or its subject matter. In *Solle v Butcher* (at 692) Denning LJ gave, as examples of such special circumstances, the case where the mistake of the one party has been induced by a material misrepresentation of the other and the case where "one party, knowing that the other is mistaken about the terms of an offer, or the identity of the person by whom it is made, lets him remain under his delusion and concludes a contract on the mistaken terms instead of pointing out the mistake".

In *Riverlate Properties Ltd v Paul* [1975] Ch 133, the English Court of Appeal accepted (at 145) that a conveyance which included a building, due to a mistake on the part of one party which was known to the other party, could be rescinded, though rectification in that situation appeared to be a preferable remedy (see also, as to the rectification for unilateral mistake, *Thomas Bates Ltd v Wyndham's Ltd* [1981] 1 WLR 505 at 514–16).

[432] In the United States and Canada the rule that relief from contractual obligations on the ground of unilateral mistake will be granted where enforcement of the contract would be unconscionable is well established. Indeed, in those jurisdictions the rule is expressed to apply to all contracts, formal and informal, when one party knows or ought to know that the other party is mistaken: see, for example, *McMaster University v Wilchar Construction Ltd* (1971) 22 DLR (3d) 9 at 22 et seq; *Stepps Investments Ltd v Security Capital Corp Ltd* (1976) 73 DLR (3d) 351 at 362–4; *Corbin on Contracts* (1950), vol 3, s 608, p 671; *Williston*, s 1573. It has been said that the rule applies when one party knows that the other party is, or might well be, mistaken: *Stepps* at 359. The same result ensues when one party causes the other party's mistake: *Corbin*, s 610, p 692; *Coleman v Holecek* 542 F (2d) 532 at 535–6 (1976). And it matters not that the mistake is, or may be, due to negligence or want of care on the part of the party who is mistaken when the other party has not materially changed his position and third party rights are not in question: *De Paola v City of New York* 394 NYS (2d) 525 at 527–8 (1977). Professor Corbin (*Corbin*, s 610, p 692) summarised the United States position as follows: "There is practically universal agreement that, if the material mistake of one party was caused by the other, either purposely or innocently, or was known to him, or was of such character and accompanied by such circumstances that he has reason to know of it, the mistaken party has a right to rescission."

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The particular proposition of law which we see as appropriate and adequate for disposing of the present appeal may be narrowly stated. It is that a party who has entered into a written contract under a serious mistake about its contents in relation to a fundamental term will be entitled in equity to an order rescinding the contract if the other party is aware that circumstances exist which indicate that the first party is entering the contract under some serious mistake or misapprehension about either the content or subject matter of that term and deliberately sets out to ensure that the first party does not become aware of the existence of his mistake or misapprehension. What we have said is sufficient to demonstrate the broad basis of support which the authorities provide for that proposition. Moreover, and perhaps more importantly, it is a principle which is best calculated to do justice between the parties to a contract in the situation which it contemplates. In such a [433] situation it is unfair that the mistaken party should be held to the written contract by the other party whose lack of precise knowledge of the first party's actual mistake proceeds from wilful ignorance because, knowing or having reason to know that there is some mistake or misapprehension, he engages deliberately in a course of conduct which is designed to inhibit discovery of it. Our comment can, for present purposes, be limited in its application to the case where the second party has not materially altered his position and the rights of strangers have not intervened.

Applying the abovementioned principle to the present case, it is apparent that the appeal must fail. It is now common ground between the parties that, at the time she signed both option and contract, Mrs Johnson mistakenly believed that the relevant document stipulated that the purchase price was $15 000 per acre whereas the stipulated purchase price was $15 000 in total. The stipulation as to price was plainly a fundamental term of the contract: see *Webster v Cecil* (1861) 30 Beav 62; 54 ER 812; *Garrard v Frankel* (1862) 30 Beav 445; 54 ER 961; *Hartog v Colin and Shields* [1939] 3 All ER 566. As we have already indicated, we are of the view that the proper inference to be drawn from the evidence is that, both at the time when Mrs Johnson executed the option and at the time when she executed the contract, Mr Taylor believed that she was under some serious mistake or misapprehension about either the terms (the price) or the subject matter (its value) of the relevant transaction. The avoidance of mention of the purchase price after the "idle curiosity" conversation and the circumstances in which Mr Taylor procured the execution of the option, including his wrong statement that he did not have a copy of the option which he could make available to Mrs Johnson, lead, in our view, plainly to the inference that he deliberately set out to ensure that Mrs Johnson did not become aware that she was being induced to grant the option and, subsequently, to enter into the contract by some material mistake or misapprehension as to its terms or subject matter.

[DAWSON J delivered a dissenting judgment, holding that the Court of Appeal should not have rejected the trial judge's finding that Mr Taylor had believed that Mrs Johnson intended to sell for the full price of $15,000.]

Appeal dismissed.

UNILATERAL MISTAKE AS TO TERMS: RECTIFICATION

[31.155] We have seen the courts have equitable power to *rectify* a contractual document where the document does not accurately record the common intention of the parties. In such a case, rectification cures *common mistake*. Rectification is also granted in cases of unilateral mistake where it would be unconscionable for the non-mistaken party to enforce the contract according to its terms.

Leibler v Air New Zealand

[31.160] *Leibler v Air New Zealand Ltd (No 2)* [1991] 1 VR 1 (Court of Appeal of the Victorian Supreme Court) – Appeal from the Victorian Supreme Court.

[FACTS: The parties entered into an agreement for the sale by Ninth Astjet Pty Ltd (NAPL) to a subsidiary of Air New Zealand (ANZ) of shares comprising a half-interest in Jetset, a company that operated a travel agency. NAPL was a company controlled by Leibler. Clause 10.9 of the draft agreement gave ANZ a right of pre-emption in respect of the remaining shares in the event that Leibler should die or become incapacitated. During further negotiations, it was agreed that the right of pre-emption would not be triggered by Leibler's death or incapacitation, but only by the Leibler family ceasing to control NAPL (which would, after the sale, retain half of the issued shares in Jetset). The parties agreed that cl 10.9 would be amended accordingly, but the purchaser's solicitors mistakenly deleted the clause entirely. The trial judge (Hansen J) found that Leibler and NAPL knew of the mistake and "deliberately refrained from drawing the mistaken deletion to the attention of ANZ, because the deletion of the clause was seen as beneficial to their interests". Hansen J held that the agreement should be rectified to include a right of pre-emption in the form of cl 10.9 with the amendments the parties had agreed would be made to that clause before it was accidentally deleted. The vendor appealed to the Court of Appeal claiming that rectification should not have been granted.]
KENNY JA:

Was a mistake of the kind identified by the respondents actually made by them at the time of executing the shareholders' agreement?

[35] The trial judge found that the respondents' claim based on common mistake could not be made out, Isi Leibler having intended to execute the shareholders' agreement without cl 10.9. Having regard to the course of the negotiations, this finding was plainly correct. His Honour did, however, accept that a case of unilateral mistake had been made out by the respondents (the plaintiffs at trial).

[36] The principles which govern an application for rectification of a contract on the ground of unilateral mistake can be briefly stated. If (1) one party, A, makes an agreement under a misapprehension that the agreement contains a particular provision which the agreement does not in fact contain; and (2) the other party, B, knows of the omission and that it is due to a mistake on A's part; and (3) lets A remain under the misapprehension and concludes the agreement on the mistaken basis in circumstances where equity would require B to take some step or steps, depending on those circumstances, to bring the mistake to A's attention; then (4) B will be precluded from relying upon A's execution of the agreement to resist A's claim for rectification to give effect to A's intention. Accordingly, the respondents' claim for rectification required them to prove that on 12 December 1985 when the shareholders' agreement was executed:

(1) they were under a misapprehension that the shareholders' agreement included a form of cl 10.9 as it stood on 28 October 1985, modified so as to take account of the matters agreed upon by Isi Leibler and Geary on that date;

(2) Isi Leibler and NAPL knew that the respondents were acting under that misapprehension in executing the shareholders' agreement; and

(3) the appellants let the respondents remain under the misapprehension and concluded the shareholders' agreement on the mistaken basis in circumstances in which equity required the appellants to take some step (which they did not take) to bring the mistake to the respondents' attention.

In setting out the elements of what is to be proved upon a claim for rectification based on unilateral mistake, I have not overlooked that some of the authorities have described these elements in different terms. I discuss these differences, where relevant, below.

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[37] The case made by the respondents was that they had executed the shareholders' agreement in the mistaken belief that it contained a clause substantially in the form of cl 10.9 as it stood on 28 October 1985, modified to take account of the agreement reached between Isi Leibler and Geary [the Managing Director of ANZ] on that date. The trial judge stated that he was "well satisfied" that the respondents had executed the agreement under a misapprehension of this kind and he so found. The appellants have submitted that this finding was erroneous and that his Honour should have found that, at the time of executing the agreement, the respondents knew that cl 10.9 had been deleted from the shareholders' agreement and intended to execute the agreement as it stood on 12 December 1985.

[38] Before an order for rectification can be made on the ground of mistake, it must be shown, by convincing proof, that the respondents not only made a mistake but that the mistake made was precisely the one identified by them for the purposes of their claim for rectification: cf *Kenny v Sholl* (1905) 7 WALR 197 at 197 per Stone CJ The appellants submitted that the respondents' evidence fell well short of convincing evidence that, as at the date of execution, the respondents mistakenly believed a modified cl 10.9 remained. There was, as counsel for the appellants submitted, no direct evidence as to how the mistake occurred. What the evidence showed was that the clause had been deleted (rather than amended) by Shmith [ANZ's Melbourne solicitor] on 29 October 1985 upon the oral instruction of Lusk [ANZ's Auckland solicitor] that day. … No-one on ANZ's side could remember what precise instructions had been given, either to Lusk by Geary or Diamond, or to Shmith by Lusk. The inability on the part of ANZ's witnesses to recollect what had been said (or done by way of documentary review) was compounded by the fact that the relevant ANZ files (including those of Geary, Macfarlane and Searle) had been lost or destroyed before trial. Lusk did, however, give evidence to the effect that the deletion had been a mistake on his or Shmith's part. When Lusk was asked why he had not realised that there had been a mistake when he received Shmith's facsimile letter of 29 October 1985 [which noted that cl 10.9 had been deleted], Lusk had said:

> I had very little occasion to be checking closely what he [Shmith] was doing because he was a more senior practitioner than I was. He was on top of the issues.

Lusk [ultimately accepted he was in error].

[39] The trial judge found that "on a consideration of all the evidence, including my observation of the witnesses" there had been a mistake by Lusk and that he had not acted in conformity with his instructions in telling Shmith to delete cl 10.9 rather than to amend it, although his Honour did not make any finding as to why Lusk had made the mistake. His Honour also said:

> I am satisfied that in the time since Geary spoke to Isi Leibler on 28 October to the time when he spoke to Lusk on 29 October he (Geary) did not unilaterally and on his own behalf determine to delete from the transaction the second level protection which cl 10.9 provided ANZ … I am well satisfied that Lusk misunderstood his instructions …

[42] It was open to his Honour to find (as he did) that as at the end of 28 October 1985, there was consensus to the extent that ANZ would have a right of pre-emption if there was a change in the effective practical control of NAPL, but not if it came about by reason of the death (or incapacity) of Isi Leibler …

[44] The appellants submitted further that, even if Lusk or Shmith had made a mistake on 29 October 1985, there was no evidence that the mistake continued to infect ANZ's judgment as at the date of execution. Whilst I accept that the date of execution is the relevant date for the purposes of the respondents' claim, I reject this submission. The evidence of Geary and of the two ANZ executives principally involved in the negotiations, Macfarlane and Searle, showed that each thought that the shareholders' agreement included a form of cl 10.9, modified to take account of the agreement reached between Geary and Isi Leibler on 28 October. Their evidence also showed quite clearly how it was that no-one on ANZ's side discovered the mistake, notwithstanding that drafts of the shareholders' and other agreements, together with relevant correspondence, were regularly sent to their executive

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offices. Geary gave evidence that he dealt "with the concepts"; that it was not his function to review the documents; and that he relied on ANZ's management (and in particular, Macfarlane and Searle) as well as ANZ's lawyers to ensure that the concepts were reflected in the terms of the shareholders' agreement. Macfarlane, the leader of the ANZ negotiating team until just before 28 October 1985 when he went to Germany, gave evidence that he could not recall receiving any relevant documents in November 1985 after his return; that he did not review the 30 October draft of the shareholders' agreement; that he was not instructing Lusk in November 1985; and that he had left matters in the hands of Geary when he left for Germany.

[45] The trial judge found that Searle, the other ANZ executive in the negotiating team until he too left for Germany, had no accurate memory as to whether he reviewed the October 1985 draft …

[46] It must, I think, be borne in mind that his Honour had the advantage of seeing and hearing the witnesses. Early in his reasons, dealing with another point, his Honour said that Geary, Macfarlane and Searle impressed him as "honest witnesses". It is apparent from his Honour's reasons that this observation was equally applicable to the evidence given by them generally. The evidence of these witnesses, if accepted, shows that nothing occurred at the ANZ management level after 28 October 1985 to correct their misapprehension that the shareholders' agreement contained a clause conferring a right of pre-emption (of the kind found in cl 10.9) modified to take account of the discussion between Geary and Isi Leibler on that day …

[48] … [I]t seems plain enough that it was open to the trial judge to find that, if Lusk mistakenly instructed Shmith to delete rather than amend cl 10.9 (or Shmith understood him to say so) so that ANZ's right of pre-emption was wholly removed (contrary to Geary's instructions), then the mistake would not, in all probability, have been noticed by Geary, Macfarlane or Searle. Geary, Macfarlane and Searle would have secured the execution of the shareholders' agreement in the mistaken belief that the agreement contained a right of pre-emption in ANZ's favour, modified to take account of the consensus reached by Geary and Isi Leibler on 28 October 1985 …

[55] It was also said by the appellants that Lusk and Shmith, as solicitors for ANZ, were acting as agents for the respondents with both actual and ostensible authority from the respondents to negotiate and draft the agreement and it was, therefore, not open to ANZ to rely on any misapprehension of the kind alleged. The appellants submitted that the law imputes to the respondents the knowledge of Shmith or Lusk that cl 10.9 had been deleted. I do not cavil at the proposition that, as against a third party, the law ordinarily imputes to a principal the knowledge gained by his agent for the purposes of and in the course of a transaction in which the agent acts for the principal: cf *Sargent v ASL Developments Ltd* (1974) 131 CLR 634 at 649 per Stephen J and 658 per Mason J; *Strover v Harrington* [1988] Ch 390 at 409-10; *Vane v Vane* (1873) LR 8 Ch App 383 at 399. I do not, however, find that proposition of assistance in the present case. If ANZ had a clear intention to enter into the shareholders' agreement on the basis that it contained a modified cl 10.9 and the appellants knew of that intention and that the deletion of the clause by ANZ's solicitors was a mistake, or very probably a mistake, then, the making of the mistake by ANZ's solicitors does not justify imputing to ANZ an intention other than their actual intention: cf *Pigrem v Gaughran* [1993] NPC 9; *Weeds v Blaney* (1977) 247 EG 211; (1978) Est Gaz Dig 902 and *Bailey v Manos Breeder Farms Pty Ltd* (unreported, SA Full Court, 5 April 1991). Accordingly, I do not accept the appellants' submission in this regard …

Did the appellants know as at the date of execution that the deletion of cl 10.9 was due to a mistake on the respondents' part?

[60] Plainly, the appellants knew that cl 10.9 had been wholly deleted from the shareholders' agreement. Shmith had told McQualter on 29 October that he had taken that step and McQualter had so advised Mark Leibler who, in turn, had so advised his brother, Isi Leibler. Whether there was, in this case, knowledge on the Jetset side that the deletion was due to a mistake was a question of fact to be decided on the evidence.

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[61] The case for the respondents was that Isi Leibler well knew that the deletion of cl 10.9 was a mistake on ANZ's part and, given that at all material times he had control of NAPL, his knowledge was the knowledge of NAPL: see *R v Roffel* [1985] VR 511. Counsel for the respondents also argued that it would have been sufficient for the purposes of their claim if the evidence had shown no more than that Isi Leibler knew that there had probably been a mistake; or that he strongly suspected that there had been a mistake; or even that he ought to have known that there had been a mistake.

[62] The case for the appellants rested on the proposition that actual knowledge of the mistake was necessary. Strong support for this was derived from *Agip SpA v Navigazione Alta Italia SpA* [1984] 1 Lloyd's Rep 353 at 365; also [1983] 2 Lloyd's Rep 333 at 343. The Australian authorities may, however, support some lesser test. In *Taylor v Johnson* (1983) 151 CLR 422 at 432 the majority, discussing the availability of rescission for unilateral mistake, referred to the sufficiency of an awareness by the non-mistaken party "that circumstances exist which indicate that [the mistaken party] is entering the contract under some serious mistake about its content in relation to a or misapprehension". See also *Misiaris v Saydels Pty Ltd* at 58,448 and *Commonwealth v VL Investment Pty Ltd* at 63,894-5. I do not, however, need to resolve the question whether the test in Australia is less onerous than in England, because the trial judge's finding was as to the appellants' actual knowledge and, in my view, that finding cannot be set aside, having regard to the fact that it depended very much on his Honour's estimation of the relevant witnesses: cf *Devries v Australian National Railways Commission* (1993) 177 CLR 472 at 479 …

In the circumstances of the case, did the appellants' failure to bring the mistake to the respondents' attention justify an order for rectification?

[65] The case for the respondents was that Isi Leibler, knowing of ANZ's mistake, deliberately refrained from drawing the mistake to ANZ's attention. Both the Leiblers denied that they had deliberately acted, or refrained from acting, so that ANZ would not notice that it had lost its right of pre-emption. The case for the appellants both at trial and on appeal was that they had relied (as they were entitled to do) upon Shmith's advice. In written submissions, it was said on their behalf that:

> [They] did not deliberately set out to ensure that the respondents did not reconsider their decision to delete cl 10.9. Nor did they lie low. To the contrary, they immediately embarked upon vigorous negotiation of the precise form of amendments to cl 2.1(f).

I do not think the findings of the trial judge permit this court to accept this submission. His Honour found that the appellants (being the defendants at trial) had deliberately refrained from drawing the mistaken deletion of cl 10.9 to the attention of ANZ, because the deletion of the clause was seen as beneficial to their interests. As his Honour's reasons for judgment make clear, that finding depended on his Honour's appreciation of the cogency and credibility of the evidence given by relevant witnesses called on the defendants' behalf …

[67] … I think, open to the trial judge to find that, having regard to the unusual circumstances found in the case, equity would regard the failure (which his Honour found to be deliberate) on the appellants' part to take any step at all to bring the respondents' mistake to their attention as a sufficient basis upon which to make an order for rectification in the respondents' favour. I mention briefly just some of those circumstances. There are a number of other matters mentioned by his Honour but it is not, I think, necessary to refer to all of them. First, according to his Honour's findings, the deletion of the clause was completely at variance with the tenor of the discussion between Isi Leibler and Geary on 28 October. Secondly, the complexity of the negotiating and drafting involved in the entire transaction was patent. Thirdly, the fundamental importance of second level protection to ANZ was, on his Honour's findings, well known on the Jetset side. Fourthly, the relationship to be brought about by the transaction was to be a close one, involving a degree of trust. Further, there was his Honour's finding that, for practical purposes, a consensus about cl 2.1(f) had in fact been reached by the end of 29 October 1985. Had someone on the ANZ's side thought to look at cl 10.9 whilst the discussion on cl 2.1(f) continued after that date, the mistake might well have been discovered by

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ANZ But his Honour found that no-one on the ANZ's side had in fact done so. In any event, the case for the defendants below was that they had never turned their minds to the possibility that ANZ had made a mistake. It was never said by them at trial that they did not bring the deletion of cl 10.9 to ANZ's attention because they thought that any mistake on ANZ's side would have been identified by ANZ in the course of later negotiations concerning cl 2.1(f). That was not the defendant's case. I do not think that, on the particular facts found by his Honour and on the case made by the defendants at trial, it can be said that his Honour erred in finding that the respondents were entitled to rectification.

[68] In *Taylor v Johnson* (1983) 151 CLR 422 at 432 the majority referred to the case in which the non-mistaken party deliberately sets out to ensure that the mistaken party does not become aware of the existence of a mistake. But the majority's reference to this circumstance was plainly not intended to be an exhaustive statement of what amounts to conduct entitling the mistaken party to rectification, even if it constitutes a particularly clear example: cf *Commission for New Towns v Cooper (Great Britain) Ltd* at 694 per Stuart-Smith LJ; *Thomas Bates & Son Ltd v Wyndham's (Lingerie) Ltd* at 1090 per Eveleigh LJ (Brightman LJ agreeing) and *Deputy Commissioner of Taxation v Chamberlain* (1990) 26 FCR 221 at 232 per Wilcox J. In some circumstances, as in the special circumstances of this case, it may be enough that the non-mistaken party chooses to leave the mistaken party under the misapprehension in executing the agreement: cf *Solle v Butcher* [1950] 1 KB 671 at 692-3; *Misiaris v Saydels Pty Ltd* at 58,449 per Young J. This is not a case in which the significance of the mistake was unknown to the appellants: contrast *Agip SpA v Navigazione Alta Italia SpA* at 366 where the defendants did not know of the plaintiffs' mistake or that the plaintiffs had attached a great deal of importance to the escalation clause …

[70] Before there can be rectification, the respondents were required to establish that, before the mistake was made, there had been a consensus as to what the shareholders' agreement should effect: see, eg, *Pukallus v Cameron* (1982) 180 CLR 447 at 452 and *Maralinga Pty Ltd v Major Enterprises Pty Ltd* (1973) 128 CLR 336 at 349. If, in the case of unilateral mistake, a plaintiff establishes, by convincing proof, that the executed document does not conform with the intention shared by the parties prior to the mistake coming to the attention of the non-mistaken party, and that intention is sufficiently precise and specific to be the subject of an order for rectification, then, rectification may, in appropriate circumstances, be granted: see *Commissioner of Stamp Duties (NSW) v Carlenka Pty Ltd* (1995) 41 NSWLR 329 at 343-4 per Sheller JA (with whom Mahoney AP and McLelland AJA agreed). In *Carlenka* the intention of the parties to a trust deed had been to make a certain company an income beneficiary, whereas the executed instrument made the company a capital beneficiary as well. The New South Wales Court of Appeal upheld an order for rectification so that the document conformed to the intention of the parties as at the date the deed was executed. But in *Baird v BCE Holdings Pty Ltd* (1996) 40 NSWLR 374, a case relied upon by the appellants, rectification was refused because no mistake had been made in putting the parties' agreement into effect. The mistake lay in the parties' misapprehension as to the tax implications of the transaction. That case was quite different from the present case in which the mistake made by ANZ was as to the contents of the shareholders' agreement, not as to the effect of its terms …

[73] Whilst sufficient evidence must be shown, by convincing proof, to have been agreed to establish that the parties had in fact reached a consensus with regard to the provision in question, it is not necessary that "the exact form of words in which the common intention is to be framed" be established so long as "in substance and in detail their intention is to be ascertained": see *Crane v Hegeman-Harris Co Inc* [1939] 1 All ER 662 at 669 per Simond J (approved on appeal, [1939] 4 All ER 68 at 72). See also *Nadile v Protective Commissioner of New South Wales* (unreported, NSW Supreme Court, Young J, 6 October 1993); *GPI Leisure Corporation Ltd v Herdsman Investments Pty Ltd (No 4)* (unreported, NSW Supreme Court, Young J, 17 August 1990) and *State Bank of South Australia v Macintosh* (unreported, NSW Supreme Court, Young J, 31 May 1995). In this case the concept of "effective practical control" had been introduced and agreed upon by the parties as early as July 1985 in recognition of the fact that the Leibler/Grant interests were held in trusts controlled by Isi Leibler and Grant. This concept was as apt for members of the Leibler family after Isi Leibler's death as it was

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for Isi Leibler himself in his lifetime. Further, as stated earlier, the trial judge found (as it was open to him to do) that the subject for discussion between Isi Leibler and Geary on 28 October 1985 was the position of Isi Leibler's immediate family, being a notion apparently well understood on both sides. Other matters were referred to by counsel for the appellants which, it was submitted, would not have been agreed upon on the Jetset side, but it is, I think, only necessary to say that I am not persuaded by the appellants' submissions in this regard. Given that, according to the findings of the trial judge, the parties believed that the discussion on 28 October 1985 between Isi Leibler and Geary had settled the remaining matters of substance (save perhaps for the "not unreasonably withholding consent" proviso in cl 2.1(f) which was in the main finalised the next day) it was, in my opinion, open to the trial judge to find that the substance of a modified cl 10.9 had in fact been agreed upon by the parties by 29 October and his Honour did not err in finding that the clause proposed by counsel for the respondents at the conclusion of the trial reflected that consensus.

[74] For the reasons stated, in the particular circumstances of this case it was, in my opinion, open to the trial judge to make the order for rectification which he did and I would dismiss the appeal.

[WINNEKE P and PHILLIPS JA, in a joint judgment, also allowed rectification and dismissed the appeal.]

Appeal dismissed.

MISTAKENLY SIGNED DOCUMENTS: NON EST FACTUM

[31.165] The Latin phrase "non est factum" means "it is not [his] deed". The plea was originally used where the plaintiff claimed that his or her signature or seal on a deed had been forged. It has been extended to cases where a party seeks to be released from a contract he or she has signed in error. The rule is that if a person proves that he or she signed a document without carelessness and believing it to be a document fundamentally different from what it was, he or she is not bound by the signature. However, the common law rule is quite strictly confined as it represents an exception to the rule that a person who signs a contract intends to adopt its terms. The class of persons who can avail themselves of the plea is limited to those who cannot read owing to blindness or illiteracy or who through no fault of their own are unable to have any understanding of the purport of a particular contract. One of the reasons that the plea is so narrowly confined is to protect innocent third parties who may have relied on the existence of a contract. Where there are no third parties involved, the High Court in *Petelin v Cullen* (1975) 132 CLR 355 suggests that the requirements of the plea may be less strictly applied.

Petelin v Cullen

[31.170] *Petelin v Cullen* (1975) 132 CLR 355 (High Court of Australia) – Appeal from the Court of Appeal of the Supreme Court of New South Wales.

[FACTS: Petelin (the *appellant*) was the owner of land at Liverpool. Cullen (the *respondent*) wished to buy that land for the purpose of development. In May 1969, he sought from Petelin an option to purchase. Cullen's agent, Mr Clements, handed to Petelin a document in the form of a letter granting the option to purchase for a consideration of $50 and advised Petelin to take it and to consult a solicitor in regard to it. Petelin spoke little English and could not read English. Petelin took the document away and brought it back later, signed by him, with certain parts of it excised. When he gave the document to Mr Clements, he received the cheque for $50. The document provided that in consideration of the sum of $50 the appellant agreed to give the option to purchase for the sum of $31,000 net to the

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vendor upon conditions set out in the form of contract approved by the Law Society and the Real Estate Institute of New South Wales and upon the basis that the purchase price was satisfied as to 10 per cent on the signing of the contract and as to the balance on completion. Six months later, Cullen, who was not in a position immediately to exercise the option, desired to seek an extension of the option for a further period of six months. Provision for such an extension had been made in the original document but it had been struck out before the document was signed. As Mr Clements had difficulty in arranging a meeting with Petelin a letter was written to him enclosing a cheque for $50. The letter was dated 11 November 1969, this is to say, shortly after the expiry of the previous option, and it read as follows:

> Please find enclosed a cheque for $50 for a further six months' extension of the options of your property. Both Mr Clements and myself have endeavoured to see you concerning this matter but have not been able to locate you. It would appear that my application will be dealt with in the next two months.

Mr Clements saw the appellant and said to him: "Did you receive the $50?" The appellant answered, "Yes". Mr Clements then said to him: "Have you got a paper like that?" and showed him a form of document proposing an extension of the option in the following terms: "I hereby extend for a further period of six months the option granted to you by me for the consideration of $50 receipt of which is hereby acknowledged." The appellant replied: "Yes, I received it." Mr Clements said either before or after the statement by the appellant: "Sign it that you received $50." The appellant signed the document. He said that he did not read it, and went on to say: "I only looked at it … I can read a little bit but the problem is I don't know what it means." The explanation given by Petelin as to why he thought he had received the second sum of $50 was that Mr Clements had said to him something like this at the time when the original cheque was handed over: "Here's the $50 and after six months you will receive another $50."

The option was exercised within the period of the second six months but Petelin refused to sign a contract. The respondent sought specific performance and the appellant pleaded non est factum.

The trial judge, Helsham J, found that the defence was made out. The appellant signed the extension of the option in the belief that it was a receipt, unaware that it was an extension of the option, having been told by the agent that he "must sign" the document. Further, the appellant did not read the document and was incapable of reading and understanding it. The Court of Appeal allowed an appeal. The appellant appealed to the High Court.]

THE COURT (BARWICK CJ, MCTIERNAN, GIBBS, STEPHEN AND MASON JJ): [359] It was, we think, legitimate to regard the appellant's testimony in its entirety as amounting to a statement that he believed at the relevant time that he was signing a receipt … This conclusion to our mind, as will be seen later, disposes of the argument that the appellant failed to discharge the onus of showing that there was a radical difference between what he signed and what he thought he was signing.

The other ground on which the Court of Appeal decided the case adversely to the appellant was that he was careless in failing to take reasonable precautions to ascertain what was in the document. Consideration of this ground requires some examination of the defence of non est factum.

The principle which underlies the extension of the plea to cases in which a defendant has actually signed the instrument on which he is sued has not proved easy of precise formulation. The problem is that the principle must accommodate two policy considerations which pull in opposite directions: first, the injustice of holding a person to a bargain to which he has not brought a consenting mind; and, secondly, the necessity of holding a person who signs a document to that document, more particularly so as to protect innocent persons who rely on that signature when there is no reason to doubt its validity. The importance which the law assigns to the act of signing and to the protection of innocent persons who rely upon a signature is readily discerned in the statement that the plea is one "which must necessarily be kept within narrow limits" (*Muskham Finance Ltd v Howard* [1963] 1 QB 904 at 912) and in the qualifications attaching to the defence which are designed to achieve this objective.

The class of persons who can avail themselves of the defence is limited. It is available to those who are unable to read owing to blindness or illiteracy and who must rely on others for advice as to what

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they are signing; it is also available to those who through no fault of their own are unable to have any understanding of the [360] purport of a particular document. To make out the defence a defendant must show that he signed the document in the belief that it was radically different from what it was in fact and that, at least as against innocent persons, his failure to read and understand it was not due to carelessness on his part. Finally, it is accepted that there is a heavy onus on a defendant who seeks to establish the defence. All this is made clear by the recent decision of the House of Lords in *Saunders v Anglia Building Society (Gallie v Lee)* [1971] AC 1004, esp at 1019.

Before the learned judge no reference was made to that decision. This omission may explain why his Honour did not deal with the element of carelessness. However this may be, the Court of Appeal overruled his decision on the ground that absence of carelessness was a necessary or material element in the making out of the defence and that on the facts the appellant was careless.

It is now settled beyond any shadow of doubt that when we speak of negligence or carelessness in connection with non est factum we are not referring to the tort of negligence but to a mere failure to take reasonable precautions in ascertaining the character of a document before signing it. The insistence that such precautions should be taken as a condition of making out the defence is of fundamental importance when the defence is asserted against an innocent person, whether a third party to the transaction or not, who relies on the document and the signature which it bears and who is unaware of the circumstances in which it came to be executed. It is otherwise when the defence is asserted against the other party to the transaction who is aware of the circumstances in which it came to be executed and who knows (because the document was signed on his representation) or has reason to suspect that it was executed under some misapprehension as to its character. In such a case the law must give effect to the policy which requires that a person should not be held to a bargain to which he has not brought a consenting mind for there is no conflicting or countervailing consideration to be accommodated – no innocent person has placed reliance on the signature without reason to doubt its validity.

On this analysis the element of carelessness has no relevance for the present case. As the learned judge found, the appellant's belief that the document was a receipt was inspired by the agent's representation that the document acknowledged the payment of the sum of $50. It is scarcely to be conceived that the respondent was unaware of what his agent said and did; but even if he was not informed by the agent he must take responsibility for his action. Consequently as against the appellant, the respondent is not to be considered as an innocent person without knowledge or reason to doubt the validity of the appellant's signature.

[361] There are other reasons why it would be inappropriate to treat the respondent as an innocent party. It became apparent to Mr Clements when the original option was negotiated that the appellant had little appreciation of English and no capacity to understand the option agreement. Indeed, Mr Clements advised him to consult a solicitor. The appellant's difficulties in reading and understanding must have been present to Mr Clements' mind when the extension was signed; yet he contented himself with a demand that the document be signed and omitted to give an explanation of its character.

The matters to which we have referred would in any event support the independent conclusion that there was no carelessness on the part of the appellant …

The other element in the defence which requires to be mentioned is the necessity that the appellant should show that he believed the document to be radically different from what it was in fact. Once it is accepted that the primary judge could properly find that the appellant believed it to be a receipt, this point of contention disappears from the case. The respondent urged that the evidence was so slight as not to overcome the "heavy" onus which rested with the appellant. The existence of that onus unquestionably was present to the mind of the primary judge when he came to assess the credibility of the appellant. But once he accepted the appellant's evidence the question of onus in our opinion was set at rest. For these reasons we would allow the appeal.

Appeal allowed.

[31.175] **Note**

In *Perpetual Trustees Victoria Ltd v Ford* [2008] NSWSC 29; (2008) 70 NSWLR 611 (affirmed on appeal: *Ford v Perpetual Trustees Victoria Ltd* [2009] NSWCA 186; (2009) 75 NSWLR 42), Harrison J held that a person who seeks to rely on the defence of *non est factum* does not need to establish that the other party had knowledge of the incapacity that led to the signing of the contract.

MISTAKE AS TO IDENTITY

[31.180] Consider the following example. A offers to sell a painting to B thinking that B is C. B accepts the offer. If B reasonably believed that the offer was made to him, his acceptance is effective, and he can enforce the promise by A.

The objective test ensures that B is not prejudiced by A's unexpressed intentions. If, however, B has deceived A into thinking he is C, is there a contract between A and B? If the dispute is between A and B, it is difficult to see why A should not be able to enforce the contract against B, if he so wishes. But if B wishes to enforce the contract against A, it is difficult to see why he should be able to do so, unless perhaps identity is immaterial. There is no question of B being prejudiced by this conclusion, as he knew of, and actually induced A's mistake. Therefore A could argue that the objective test should be abandoned in this case, and on application of a subjective test it will be revealed that there was no coincidence of offer and acceptance.

One difficulty with this conclusion is that if the contract is void then no property in the painting will pass to an innocent person D who purchases it from B. In fact, D will be liable to A in the tort conversion, as D's dealing with the goods constitutes a violation, however unwitting, of A's title.

In the present state of the law, the only way to protect the innocent third party is to hold that the original contract is not void at common law but voidable in equity. Equity, however, will not set aside the contract as property will have vested in the third party. The vesting of the property in third parties is a bar to rescission (see Chapter 39).

It is convenient to consider first the cases where the parties are not face to face and then the cases where the parties are face to face.

Parties not face to face

[31.185] In *Cundy v Lindsay* (1878) 3 App Cas 459, Alfred Blenkarn, who occupied a room in a house looking into Wood Street, Cheapside, wrote to Messrs Lindsay offering to purchase a considerable quantity of their goods. In the letter, Blenkarn gave his address as 37 Wood Street, Cheapside and deliberately signed it in such a way that it appeared as though Blenkiron & Co were purchasing the goods. There was a respectable firm of that name carrying on business at 123 Wood Street. Lindsay supplied and invoiced the goods to Blenkiron & Co at 37 Wood Street. Blenkarn disposed of the goods to Cundy who took them in ignorance of the fraud. Lindsay sued Cundy for conversion of the goods. Lindsay was unsuccessful at the trial but successful in the Court of Appeal. The House of Lords held that

no contract had arisen (and in turn Cundy did not receive title to the goods). Lord Cairns LC said (at 465):

> I ask the question, how is it possible to imagine that in that state of things any contract could have risen between the respondents and Blenkarn, the dishonest man? Of him they knew nothing, and of him they never thought. With him they never intended to deal … and as between him and them there was no consensus of mind which could lead to any agreement or any contract whatever … [I]t is idle to talk of the property passing. The property remained, as it originally had been, the property of the respondents, and the title which was attempted to be given to the appellants was a title which could not be given to them.

Cundy v Lindsay was distinguished in *King's Norton Metal Co Ltd v Edridge Merrett & Co* (1897) 14 TLR 98. In that case, Wallis wrote to the plaintiffs on note paper bearing the name Hallam & Co asking for a quotation of prices for brass rivet wire. The prices were quoted and Hallam & Co ordered the wire which was delivered but never paid for. In fact, Hallam & Co did not exist and was only a cloak for Wallis. The wire was sold to the defendant, whom the plaintiff sued in conversion. The trial judge held that the property in the goods had passed to Wallis, who sold them to the defendants before the plaintiffs had avoided the contract, and accordingly the defendants were not liable in conversion. The Court of Appeal upheld this decision. AL Smith LJ said the question was (at 99): "With whom … did the plaintiffs contract to sell the goods? The Court of Appeal held that the plaintiff's intended to contract with the writer of the letters. If it could have been shown that there was a separate entity called Hallam & Co and another entity called Wallis, then the case might have come within the decision in *Cundy v Lindsay*." There was a contract made by the plaintiffs with the person who wrote the letters and by virtue of that contract property passed to him.

In *Shogun Finance Ltd v Hudson* [2003] UKHL 62; [2004] AC 919, a rogue dishonestly obtained the drivers' licence of Mr Durlabh Patel and used it to acquire a car on hire purchase from Shogun. The transaction was arranged through a car dealer who sent to Shogun an application form (on which the rogue had forged Patel's signature) and a copy of Patel's drivers' licence. Shogun checked Patel's credit and employment records before entering into the transaction and delivering the car to the rogue. The rogue sold the car to Hudson and then disappeared. Shogun sought to recover the value of the car from Hudson. The House of Lords held that Shogun's intention was to contract with the real Mr Patel. As a matter of construction, the written agreement clearly purported to be between Shogun and Patel but no contract could arise between them without Patel's authority. No contract could arise between the rogue and Shogun because there was no consensus ad idem between them. Accordingly, there was no contract and Hudson did not obtain title to the car. Lord Nicholls of Birkenhead and Lord Millett dissented on the basis, inter alia, that *Cundy v Lindsay* should no longer be followed.

Parties face to face

Lewis v Averay

[31.190] *Lewis v Averary* [1972] 1 QB 198 (Court of Appeal) – Appeal from Deputy Judge Ellison sitting at Bromley County Court.

[FACTS: *Mr Lewis*, a postgraduate student, owned a motor vehicle which he wanted to sell. On 8 May 1969, he showed it to a person who came to his flat and falsely claimed to be Richard Greene,

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the well-known actor who played Robin Hood in a television series. The parties agreed on a price of £450, and the rogue wrote out a cheque for that amount. Mr Lewis was unwilling to hand over the car until the cheque was cleared. He asked the rogue if he had any proof that he was Richard Greene. The rogue then produced an official Pinewood Studios pass with the name "Richard Green" on it and a photograph of himself. Mr Lewis was satisfied and handed over the car and the logbook in return for the cheque. The cheque was later dishonoured. In the meantime, the rogue sold the car to *Mr Averay*, an innocent purchaser, for £200, and disappeared. Mr Lewis claimed the car was still his and sued Mr Averay for conversion. The trial judge awarded Lewis damages. Averay appealed to the Court of Appeal.]

LORD DENNING MR: [205] The real question in the case is whether on 8 May 1969, there was a contract of sale under which the property in the car passed from Mr Lewis to the rogue. If there was such a contract, then, even though it was voidable for fraud, nevertheless Mr Averay would get a good title to the car. But if there was no contract of sale by Mr Lewis to the rogue, either because there was, on the face of it, no agreement between the parties, or because any apparent agreement was a nullity and void ab initio for mistake, then no property would pass from Mr Lewis to the rogue. Mr Averay would not get a good title because the rogue had no property to pass to him.

There is no doubt that Mr Lewis was mistaken as to the identity of the person who handed him the cheque …

What is the effect of this mistake? There are two cases in our books which cannot, to my mind, be reconciled the one with the other. One of them is *Phillips v Brooks Ltd* [1919] 2 KB 243, where a jeweller had a ring for sale. The other is *Ingram v Little* [1961] 1 QB 31, where two ladies had a car for sale. In each case the story is very similar to the present. A plausible rogue comes along. The rogue says he likes the ring, or the car, as the case may be. He asks the price. The seller names it. The rogue says he is prepared to buy it at that price. He pulls out a cheque book. He writes, or prepares to write, a cheque for the price. The seller hesitates. He has never met this man before. He does not want to hand over the ring or the car not knowing whether the cheque will be met. The rogue notices the seller's hesitation. He is quick with his next move. He says to the jeweller, in *Phillips v Brooks*: "I am Sir George Bullough of 11 St James" Square'; or to the ladies in *Ingram v Little*: "I am PGM Hutchinson of Stanstead House, Stanstead Road, Caterham"; or to the post? graduate student in the present case: "I am Richard Greene, the film actor of the Robin Hood series." Each seller checks up the information. The jeweller looks up the directory and finds there is a Sir George Bullough at 11 St James' Square. [206] The ladies check up too. They look at the telephone directory and find there is a "PGM Hutchinson of Stanstead House, Stanstead Road, Caterham." The postgraduate student checks up too. He examines the official pass of the Pinewood Studios and finds that it is a pass for "Richard A Green" to the Pinewood Studios with this man's photograph on it. In each case the seller feels that his is sufficient confirmation of the man's identity. So he accepts the cheque signed by the rogue and lets him have the ring, in the one case, and the car and logbook in the other two cases. The rogue goes off and sells the goods to a third person who buys them in entire good faith and pays the price to the rogue. The rogue disappears. The original seller presents the cheque. It is dishonoured. Who is entitled to the goods? The original seller? Or the ultimate buyer? The courts have given different answers. In *Phillips v Brooks*, the ultimate buyer was held to be entitled to the ring. In *Ingram v Little* the original seller was held to be entitled to the car. In the present case the deputy County Court judge has held the original seller entitled.

It seems to me that the material facts in each case are quite indistinguishable the one from the other …

This case therefore raises the question: What is the effect of a mistake by one party as to the identity of the other? It has sometimes been said that if a party makes a mistake as to the identity of the person with whom he is contracting, there is no contract, or, if there is a contract, it is a nullity and void, so that no property can pass under it …

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[I]n *Ingram v Little*, the majority of the court suggested that the difference between *Phillips v Brooks* and *Ingram v Little* was that in *Phillips v Brooks* the contract of sale was concluded (so as to pass the property to the rogue) before the rogue made the fraudulent misrepresentation (see [1961] 1 QB 31 at 51, 60) whereas in *Ingram v Little* the rogue made the fraudulent misrepresentation before the contract was concluded. My own view is that in each case the property in the goods did not pass until the seller let the rogue have the goods.

Again it has been suggested that a mistake as to the identity of a person is one thing, and a mistake as to his attributes is another. A mistake as to identity, it is said, avoids a contract, whereas a mistake as to attributes does not. But this is a distinction without a difference. A man's very name is one of his attributes. It is also a key to his identity. If then, he gives a false name, is it a mistake as to his identity? or a mistake as to his attributes? These fine distinctions do no good to the law.

[207] As I listened to the argument in this case, I felt it wrong that an innocent purchaser (who knew nothing of what passed between the seller and the rogue) should have his title depend on such refinements. After all, he has acted with complete circumspection and in entire good faith, whereas it was the seller who let the rogue have the goods and thus enabled him to commit the fraud. I do not, therefore, accept the theory that a mistake as to identity renders a contract void. I think the true principle is … this: When two parties have come to a contract – or rather what appears, on the face of it, to be a contract – the fact that one party is mistaken as to the identity of the other does not mean that there is no contract, or that the contract is a nullity and void from the beginning. It only means that the contract is voidable, that is, liable to be set aside at the instance of the mistaken person, so long as he does so before third parties have in good faith acquired rights under it ….

When a dealing is had between a seller like Mr Lewis and a person who is actually there present before him, then the presumption in law is that there is a contract, even though there is a fraudulent impersonation by the buyer representing himself as a different man than he is. There is a contract made with the very person there, who is present in person. It is liable no doubt to be avoided for fraud, but it is still a good contract under which title will pass unless and until it is avoided ….

Though I very much regret that either of these good and reliable gentlemen should suffer, in my judgment it is Mr Lewis who should do so. I think the appeal should be allowed and judgment entered for the defendant.

[31.192] PHILLIMORE LJ: [208] [I]n *Ingram v Little* … the Court of Appeal, by a majority and in the very special and unusual facts of the case, decided that it had been sufficiently shown in the particular circumstances that, contrary to the prima facie presumption, the lady who was selling the motor car was not dealing with the person actually present. But in the present case I am bound to say that I do not think there was anything which could displace the prima facie presumption that Mr Lewis was dealing with the gentleman present there in the flat – the rogue. It seems to me that when, at the conclusion of the transaction, the car was handed over, the logbook was handed over, the cheque was accepted, and the receipts were given, it is really impossible to say that a contract had not been made. I think this case really is on all fours with *Phillips v Brooks*, which has been good law for over 50 years. True, the contract was induced by fraud, and Mr Lewis, when he discovered that he had been defrauded, was entitled to avoid it; but in the meanwhile the rogue had parted with the property in this motor car which he had obtained to Mr Averay, who bought it bona fide without any notice of the fraud, and accordingly he thereby, as I think, acquired a good title. This action was in my judgment one which was bound to fail. I think the judge was wrong in the decision to which he came and this appeal must be allowed.

[31.194] MEGAW LJ: [209] The well known textbook Cheshire and Fifoot on the *Law of Contract* (7th ed, 1969), pp 213, 214, deals with the question of invalidity of a contract by virtue of unilateral mistake, and in particular unilateral mistake relating to mistaken identity. The editors describe what in their submission are certain facts that must be established in order to enable one to avoid a contract on the basis of unilateral mistake by him as to the identity of the opposite party. The first of those facts is that at the time when he made the offer he regarded the identity of the offeree as a matter of vital

Lewis v Averay cont.

importance. To translate that into the facts of the present case, it must be established that at the time of offering to sell his car to the rogue, Mr Lewis regarded the identity of the rogue as a matter of vital importance. In my view, Mr Titheridge is abundantly justified, on the notes of the evidence and on the findings of the judge, in his submission that the mistake of Mr Lewis went no further than a mistake as to the attributes of the rogue. It was simply a mistake as to the creditworthiness of the man who was there present and who described himself as Mr Green … When one looks at the evidence of the plaintiff, Mr Lewis himself, it is, I think, clear, as Mr Titheridge submits, that there was not here any evidence that would justify the finding that he, Mr Lewis, regarded the identity of the man who called himself Mr Green as a matter of vital importance.

I agree that the appeal should be allowed.

Appeal allowed. Judgment entered for defendant.

[31.196] **Note**

Where a rogue (C) induces A to believe that he is in fact, B, the registered proprietor of land, and induces A to lend him money secured by a forged mortgage on B's land, is the contract between C and A void for mistake? In *Porter v Latec Finance (Qld) Pty Ltd* (1964) 111 CLR 177, three judges of the High Court expressed opinions on this question. Windeyer J considered such a contract void (at 200–1); so too did Kitto J (at 194). Barwick CJ considered the agreement to lend would be void, but not the loan itself (at 183).

ELECTRONIC TRANSACTIONS

[31.200] Commonwealth legislation as well as legislation in all the States and Territories may provide relief where a natural person makes an "input error" in the course of a transaction with an automated system (see *Electronic Transactions Act 2001* (ACT), s 14D; *Electronic Transactions Act 1999* (Cth), s 15D; *Electronic Transactions Act 2000* (NSW), s 14D; *Electronic Transactions (Northern Territory) Act* (NT), s 14D; *Electronic Transactions (Queensland) Act 2001* (Qld), s 26D; *Electronic Communications Act 2000* (SA), s 14D; *Electronic Transactions Act 2000* (Tas), s 12D; *Electronic Transactions (Victoria) Act 2000* (Vic), s 14D; *Electronic Transactions Act 2011* (WA), s 20). Where the system provides no opportunity to correct an "input error" the person making the error is entitled to "withdraw the portion of the communication in which the input error was made", provided he or she does so as soon as possible after learning of the error, and provided he or she has not received any material benefit from goods or services provided by the other party. The legislation specifically provides that the right to withdraw a portion of an electronic communication is not a right to rescind a contract. The consequences of withdrawal of the relevant portion of the communication are to be determined in accordance with applicable legal rules, but clearly in some circumstances this will undermine the validity of the contract. If, for example, a consumer booking a ticket for air travel over the internet accidentally booked a flight for the wrong date, and was not given an opportunity to correct the error, the withdrawal of that portion of the communication would undermine the validity of the contract, since the withdrawn communication identified the subject matter of the contract.

CHAPTER **32**

Misrepresentation

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[32.10] Misrepresentation of fact 908
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[32.05] During pre-contractual negotiations, a statement may be made by one party (the *representor*) that induces the other party (the *representee*) to enter the contract. For example, A, who is negotiating to sell a business to B, may say that the weekly takings of the business are $20,000. B may rely on this statement when deciding to enter into the contract to purchase the business. The statement may later be discovered by B to be an overstatement. What is the legal status of the statement as to weekly takings? What are the legal consequences of the falsity of the statement?

One possibility is that the statement becomes a term of the contract itself: see [12.105]. Another possibility is that it constitutes a collateral contract: see [12.145]. In both of these instances, the statement has *contractual* force: A has promised that the takings are $20,000. B has an action for damages for *breach of contract* if the takings are below $20,000 (see Chapter 26).

Another possibility is that the statement does not acquire contractual status at all. This might be because the statement is not sufficiently promissory in nature (see *JJ Savage & Sons v Blakney* (1970) 119 CLR 435, at [12.195]). B may nonetheless be able to obtain *rescission* of the contract on the basis of A's misrepresentation. Rescission means that the contract is set aside, and the parties are restored to their original positions. In this chapter, we examine the elements necessary to establish a prima facie right to rescission for misrepresentation. The nature of the remedy of rescission and potential bars to rescission are considered in Chapter 39.

General law misrepresentation is not as relevant to contracting parties today as it was in the past. In recent years, statutory law has become the most important source of relief for representees. Section 18(1) of the *Australian Consumer Law* prohibits misleading or deceptive conduct in trade or commerce. Persons who suffer loss as a result of a contravention of this provision have access to a wide range of remedies under the legislation, including, but not restricted to, damages and rescission. The prohibition against misleading or deceptive conduct in trade or commerce, and the remedies available if that prohibition is contravened, are considered in Chapter 33.

Although the general law of misrepresentation has been somewhat overshadowed by the legislation and the litigation it has generated, it remains important for at least three reasons. First, the legislation only applies where the person who engaged in misleading conduct did so "in trade or commerce". Thus, the general law may be the only source of relief for a representee who has been induced to enter into a contract outside the commercial and consumer contexts. Secondly, concepts formulated in the context of the general law are often adopted or adapted by judges in their interpretation of the legislative provisions. Thirdly, in practice, general law misrepresentation can be relied upon by litigants as an alternative to misleading or deceptive conduct, and relief is sometimes granted under the general law, even where the ACL applies (see, eg, *Vadasz v Pioneer Concrete (SA) Pty Ltd* (1995) 184 CLR 102.

POSITIVE MISREPRESENTATION OF FACT

Misrepresentation of fact

[32.10] If a representation is ambiguous, it will first have to be determined what it means before it can be determined whether it is false. In such a case "the sense in which a representation would be understood by a reasonable person in the position of the representee is prima facie the sense relevant to the question whether the representation is false": *Krakowksi v Eurolynx Properties Pty Ltd* (1995) 183 CLR 563, 576–7.

The representation must be a statement of existing *fact*, whether the representation be written, oral or implied by conduct. For other kinds of statements – mere puffs, representations of law or statements of opinion or future intent – generally no relief is available. However, the courts are adept at finding *implied* statements of fact in such representations, as the following cases illustrate.

Smith v Land & House Property Corp

[32.15] *Smith v Land & House Property Corp* (1884) 28 Ch D 7 (Court of Appeal) – Appeal from Denman J.

[FACTS: The *plaintiffs* advertised a hotel for sale by auction. It was stated in the particulars of sale that the "whole property is let to Mr Frederick Fleck (a most desirable tenant), at a rental of £400 per annum (clear of rates, taxes, insurance, etc), for an unexpired term of 27 1/2 years, thus offering a first-class investment".

The *defendant* company purchased the property for £4,700. Before the property was conveyed, Fleck became bankrupt and the defendant refused to complete. The plaintiffs sued for specific performance, and the defendant counterclaimed for rescission of the contract.

The evidence at the trial established that Fleck was in arrears with the rent at the time of the sale. Furthermore, the chairman of the board of directors swore that the company would not have bought the hotel but for the representation. He was not shaken in cross-examination and was believed by the trial judge who dismissed the action and on the counterclaim rescinded the contract. The plaintiffs appealed.]

BOWEN LJ: [15] In considering whether there was a misrepresentation, I will first deal with the argument that the particulars only contain a statement of opinion about the tenant. It is material to observe that it is often fallaciously assumed that a statement of opinion cannot involve the statement of a fact. In a case where the facts are equally well known to both parties, what one of them says to the other is frequently nothing but an expression of opinion. The statement of such opinion is in a sense a statement of a fact, about the condition of the man's own mind, but only of an irrelevant

Smith v Land & House Property Corp cont.

fact, for it is of no consequence what the opinion is. But if the facts are not equally known to both sides, then a statement of opinion by one who knows the facts best involves very often a statement of a material fact, for he impliedly states that he knows facts which justify his opinion. Now a landlord knows the relations between himself and his tenant, other persons either do not know them at all or do not know them equally well, and if the landlord says that he considers that the relations between himself and his tenant are satisfactory, he really avers that the facts peculiarly within his knowledge are such as to render that opinion reasonable. Now are the statements here statements which involve such a representation of material facts? They are statements on a subject as to which prima facie the vendors know everything and the purchasers nothing. The vendors state that the property is let to a most desirable tenant, what does that mean? I agree that it is not a guarantee that the tenant will go on paying his rent, but it is to my mind a guarantee of a different sort, and amounts at least to an assertion that nothing has occurred in the relations between the landlords and the tenant which can be considered to make the tenant an unsatisfactory one. That is an assertion of a specific fact. Was it a true assertion? Having regard to what took place between [16] Lady Day and Midsummer, I think that it was not. On 25 March, a quarter's rent became due. On 1 May, it was wholly unpaid and a distress was threatened. The tenant wrote to ask for time. The plaintiffs replied that the rent could not be allowed to remain over Whitsuntide. The tenant paid on 6 May £30, on 13 June £40, and remaining £30 shortly before the auction. Now could it at the time of the auction, be said that nothing had occurred to make Fleck an undesirable tenant? In my opinion a tenant who had paid his last quarter's rent by driblets under pressure must be regarded as an undesirable tenant …

[BAGGALLY and FRY LJJ delivered concurring judgments.]

Appeal dismissed.

Fitzpatrick v Michel

[32.20] *Fitzpatrick v Michel* (1928) 28 SR (NSW) 285 (Full Court of the Supreme Court of New South Wales) – New Trial Motion.

[FACTS: The plaintiffs became tenants to the defendant of a block of flats under a lease for five years at a rental of £40 a week for the first six months and £45 a week for the residue of the term. They brought an action to recover damages for alleged fraudulent misrepresentation by the defendant's agent. The misrepresentation complained of was in respect of two separate matters:

1. that one of the flats had already been let to a Mr Rich for three years at a rental of six guineas a week;
2. that five of the flats that had water views would bring not less than six guineas a week each, and the others not less than five guineas a week each.

Evidence was given of representations to this effect being made by the agent. The plaintiff obtained a verdict of £3,510 at the trial. The defendant appealed.]

FERGUSON J: [288] The ground most strongly relied upon raised in effect the question of the correctness of the directions to the jury with respect to the representation that the flats would let for 6 guineas and 5 guineas a week. The learned judge was asked to direct the jury that this was a mere matter of opinion. He discussed with great care and at considerable length the distinction between expressions of opinion and statements of fact, but it is complained that some of the expressions used by him were calculated to mislead the jury as to the real nature of the issues they were to try.

It is not always easy to distinguish between expressions of opinion and statements of fact. An expression of opinion may be a statement of fact, and, as pointed out in more than one of the authorities cited to us, it always necessarily involves [289] a statement of fact; the fact that the opinion is held by the person expressing it. But it is necessary to bear clearly in mind an

Fitzpatrick v Michel cont.

important distinction between statements made about existing facts and those made about the future. A jeweller may state that a ring is gold either as an expression of opinion or as a statement of fact. The fact that it is or is not gold is an existing fact, and if he knows that it is not, he is guilty of misrepresentation. But I doubt whether any statement that something will happen in the future can in the same sense be a statement of fact. A man of course may bind himself by a warranty that it will happen, but, leaving warranty out of the question, the statement can be no more than an expression of opinion or belief. To say that a flat will let for 6 guineas a week cannot be a statement to that effect as an existing fact, but it does involve certainly a representation that the person making it entertains that opinion, and possibly a representation that facts are known to him that justify that opinion. The distinction is one of substance, and may be illustrated by considering the nature of the evidence that would be sufficient to prove that the representation was false. To prove a breach of warranty that a flat would let for 6 guineas, it would be enough to show that no tenant could be found who was ready to take it at that rent, but that could not prove a false representation. In the case of breach of warranty, honesty of belief in the truth of the warranty is no defence, while it is a complete answer to a charge of false representation. If a statement is the honest expression of an opinion honestly entertained, it cannot be said that it involves any fraudulent misrepresentation of fact. Turning to the summing up of the learned judge, I think they were expressions which might reasonably have led the jury to the conclusion that it was open to them to find that the statement in itself was one of fact.

Verdict for the plaintiff set aside and new trial ordered.

[32.25] Note

1. A statement of future intention can in some circumstances constitute a representation of fact. In *Edgington v Fitzmaurice* (1885) 29 Ch D 459, the directors of a company issued a prospectus inviting subscriptions for debentures, stating that the object of the issue of debentures was to complete alterations to the buildings of the company, to purchase horses and vans and to develop the trade of the company. The real object of the loan, however, was to enable the directors to pay off pressing liabilities of the company. The plaintiff advanced money on some of the debentures relying on the statements in the prospectus. He sued the directors in deceit. Bowen LJ, in the course of delivering his judgment in favour of the plaintiff, said (at 482–3):

> But when we come to the third alleged misstatement I feel that the plaintiff's case is made out. I mean the statement of the objects for which the money was to be raised. These were stated to be to complete the alterations and additions to the buildings, to purchase horses and vans, and to develop the supply of fish. A mere suggestion of possible purposes to which a portion of the money might be applied would not have formed a basis for an action of deceit. There must be a misstatement of an existing fact: but the state of a man's mind is as much a fact as the state of his digestion. It is true that it is very difficult to prove what the state of a man's mind at a particular time is, but if it can be ascertained it is as much a fact as anything else. A misrepresentation as to the state of a man's mind is therefore, a misstatement of fact.

2. In *Beach Petroleum NL v Johnson* (1993) 43 FCR 1, 40, von Doussa J observed:

> The fact that a party is prepared to, and does, enter into the transaction in question amounts to an implied representation that that party has a present intention to carry out

the promises made. Thus for a person to purchase goods on credit when at the time that person has no intention of paying for the goods amounts to deceit: *Ex parte Whitaker; Re Shackleton* (1875) LR 10 Ch App 446 at 449 and *Re Eastgate; Ex parte Ward* [1905] 1 KB 465.

Public Trustee v Taylor

[32.30] *Public Trustee v Taylor* [1978] VR 289 (Supreme Court of Victoria) – Trial of Action.

[FACTS: Before the commencement of an auction for the sale of a property, the *plaintiff*'s agent, in advertisements in the press and on a board affixed to the front of the premises, described the property as follows: "Zoned: special use 10. Subject to road widening." Following the auction, at which the property was passed in, the property was sold to the *defendant*. In accordance with the terms of the contract, the defendant paid the plaintiff $11,000 by way of deposit. Before the due date for completion, the defendant purported to rescind the contract and demanded return of his deposit. The plaintiff claimed specific performance of the contract and damages for breach. The defendant claimed he was induced to enter the contract by the misrepresentation concerning the property made by the plaintiff's agent before the commencement of the auction. The purported zoning referred to uses of the land permitted by the Melbourne and Metropolitan Board of Works Planning Scheme. By Interim Development Order of the MMBW, the land was reserved for the purpose of a proposed main road and was not zoned for special use 10 as advertised. The representation as to zoning was false to the knowledge of the plaintiff's agent.]

KAYE J: [296] To decide whether the property was zoned as represented, it would have been necessary to consider provisions of Pt II of the *Town and Country Planning Act 1961*, the Melbourne and Metropolitan Planning Scheme Ordinance and its map No 39. The decision, therefore, would have been reached by applying the law, as found in the legislation, ordinance and map, to knowledge of the location of the property. The result achieved in this way was a conclusion of law, and the statement of it to another person was a representation of law. Delivering the judgment of the Court of Appeal in *Territorial & Auxiliary Forces Association of the County of London v Nichols* [1949] 1 KB 35, 50, Scott LJ held that a statement that premises were controlled premises within the meaning of the Rent Restrictions Acts constituted a representation of law. His Lordship said: "That is not a representation of fact; it is a statement of the result obtained by applying the provisions of the Act to the circumstances of the particular case."

The decision in *Nichols'* case was applied by the Privy Council in *Kai Nam v Ma Kam Chan* [1956] AC 358, in relation to a representation concerning whether certain premises were "an entirely new building" as described in the Hong Kong Landlord and Tenant Ordinance. Similarly, it has been stated by the [297] High Court, without deciding the matter, that there is a good deal to be said for the view that a representation made by a local government authority that certain land was within an area planned as a rural zone of a green belt of a proposed town planning scheme is a representation of law: *Vitosh v Brisbane City Council* (1960) 5 LGRA 342 at 345. It does not appear from the report of the case whether *Nichols'* case and *Kai Nam v Ma Kam Chan* were cited to the High Court, although the view expressed by it is consistent with the Privy Council and Court of Appeal judgments. My opinion, therefore, is that the representation by which the defendant was induced to enter into the contract was one of law.

Relying upon a passage appearing in Cheshire and Fifoot, *Law of Contract* (3rd Australian ed, 1974), p 284, Mr Berkeley submitted that a misrepresentation of law is not actionable. To the extent that a misrepresentation of law cannot found an estoppel, his submission is supported by authority: *Nichols'* case and *Kai Nam v Ma Kam Chan*. See also Spencer, Bower and Turner, *Estoppel by Representation* (2nd ed, 1966), 39–40. I am unable, however, to find support in *Vitosh v Brisbane City Council* for a proposition that a misstatement of law made fraudulently will not support an action for deceit. In that case, the High Court dismissed the plaintiff's appeal on the ground that, being an action for damages for fraudulent misrepresentation, the misrepresentations were neither as alleged in his statement of

Public Trustee v Taylor cont.

claim, nor false. The court did not suggest that, had the representations been made fraudulently, the action would have failed on the ground that they were statements of law.

There are, on the other hand, a number of cases where relief was granted to a party who had been induced to enter into an agreement by a misrepresentation of law made fraudulently and there are cases where the right to relief in such circumstances has been recognised: *British Workman's & General Insurance Co Ltd v Cunliffe* (1902) 18 TLR 502; *Kettlewell v Refuge Assurance Co* [1908] 1 KB 545; *Tofts v Pearl Life Assurance Co Ltd* [1915] 1 KB 189; and *Oudaille v Lawson* [1922] NZLR 259, 261. In *Cunliffe's* case a policy holder sought to recover a premium paid by him under an assurance policy on the life of another person. He was induced to enter into the policy by a representation made by the company's agent that he had an insurable interest. The Court of Appeal affirmed the Divisional Court's decision that he was entitled to recover the amount of premium paid although in the Divisional Court it had been found that the representation was made innocently. Significantly Romer LJ described the conduct of the agent as improper. Subsequently in *Harse v Pearl Life Insurance Co* [1904] 1 KB 558, 563, Collins MR explained that in *Cunliffe's* case the statement of law on which the assured acted was made fraudulently. It was similarly explained in *Phillips v Royal London Assurance Co Ltd* (1911) 105 LT 136, 137, and in *Hughes v Liverpool Legal Society* [1916] 2 KB 482, 486–7. The learned authors of Spencer Bower and Turner, *Actionable Misrepresentation* (3rd ed, 1974), p 61, para 42, after stating that it has been held or recognised in several authorities that if the law is fraudulently misstated, the representor would be held liable for misrepresentation, offer as an explanation for this principle that a statement of law implies a representation that the person professing to expound it believes it to be as stated by him. For my part, I agree with the explanation offered by the learned authors.

[298] It is therefore necessary to consider the consequences which flowed from the misrepresentation of law made fraudulently by the plaintiff's agent …

[299] In my view, the same rights and consequences should flow from the making of fraudulent misrepresentation of law by which a party was induced to enter into a contract and from the making of a fraudulent misrepresentation of fact. If a party might claim damages arising out of a fraudulent misrepresentation of law, a fortiori he should be entitled both to rescind a contract which was procured in the same way as well as to resist the enforcement of it by specific performance.

Some support for this conclusion is to be found in the judgment of Bowen LJ in *West London Commercial Bank v Kitson* (1884) 13 QBD 360, 362–3. There his Lordship declared: "I am not prepared to say – and I doubt whether, if a man who wilfully misrepresented the law – would be allowed in equity to retain any benefit he got by such misrepresentation."

His Lordship's statement was made, as I have already observed, in a case relating to a misrepresentation of fact. In *Spencer Bower on Actionable Misrepresentation* (2nd ed, 1927), p 57, in a footnote, this passage in his Lordship's judgment is described as follows:

> proposition worded with needless caution, for it cannot be supposed that, if a statement of law is a representation to the extent indicated for one purpose, it is not so for all, or that the application of the rule is confined to equity, or to proceedings for rescission.

See also 3rd ed (1974), of the same work, *Spencer Bower and Turner*, p 61.

Thus, I conclude it would be unconscionable to permit the plaintiff to gain from a fraudulent misrepresentation of law whether made by himself or by his agent.

It follows that the plaintiff's claim for specific performance ought to be denied and that the defendant is entitled to a declaration that he has validly rescinded the contract.

Order accordingly.

[32.35] **Note**

The distinction between law and fact is probably no longer supportable in Australia given the High Court's rejection of the distinction in the context of a claim for restitution of money paid under a mistake of fact (*David Securities Pty Ltd v Commonwealth Bank of Australia* (1992) 175 CLR 353, extracted at [10.30]).

Positive misrepresentation

[32.40] Generally, a contracting party cannot claim relief for the failure of the other party to disclose a material fact. In other words, there is no duty of disclosure and silence is not a basis for relief. There are, however, important exceptions to this rule. For example, a duty of disclosure may arise where a statement is literally true but gives rise to a false impression; or where a statement is true when made but is later rendered false by change of circumstances: see *Davies v London & Provincial Marine Insurance Co* (1878) 8 Ch 469, at [32.45]. Moreover, there are various classes of contract in which some unusual degree of disclosure is required. Where one party is in a much better position to know the material facts than the other party, a duty to disclose those facts is imposed in respect of certain types of contracts, known as contracts *uberrimae fidei*. The most important example of this category is the contract of insurance. There are statutory provisions dealing with the duties of disclosure owed by insured persons to insurers: see *Marine Insurance Act 1909* (Cth), s 24; *Insurance Contracts Act 1984* (Cth), s 21. Contracts of guarantee (or suretyship), on the other hand, are not regarded as contracts uberrimae fidei in the sense of requiring full disclosure. However, a limited duty of disclosure is imposed on the creditor in such cases.

Non-disclosure can in some circumstances amount to misleading or deceptive conduct (see Chapter 33). A duty of full disclosure is imposed on fiduciaries: see *McKenzie v McDonald* [1927] VLR 134, at [32.55]. Disclosure obligations can also arise in contracting situations considered elsewhere in this book. See, for example, unilateral mistake as to a fundamental term (*Taylor v Johnson* (1983) 151 CLR 422, at [31.150]); and unconscionable dealing (*Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447, at [36.30]).

Duties of particular disclosure are imposed on specific contracting parties by a variety of statutory provisions, such as corporations law, consumer credit laws, financial services law and land laws. Such provisions, however, are beyond the scope of this book.

Davies v London & Provincial Marine Insurance Co

[32.45] *Davies v London & Provincial Marine Insurance Co* (1878) 8 Ch D 469 (Chancery Division) – Trial of Action.

[FACTS: Major Daniell and Mr Burn, secretary and solicitor respectively of the *defendant* insurance company, believed that the retention of money by one of their agents, named Evans, amounted to a felony and directed his arrest. Some of Evans's friends, Mr Gee and Mr Humphreys, approached Major Daniell, and on 15 April 1877, Mr Burn, about reaching an arrangement that would ensure Evans was not arrested. Later that day, Mr Burn received legal advice that Evans's acts did not amount to a felony and the instructions for the arrest were withdrawn. Still later on that day, Mr Gee had a second interview with Mr Burn, who said that he would advise the company to take a sum of money from Evans as a security. He spoke of Evans's embezzlement and agreed that Evans would not be arrested

Davies v London & Provincial Marine Insurance Co cont.

before Tuesday. On 18 April, Mr Gee, Mr Humphreys and the *plaintiff* Davies, another friend of Evans, came to Mr Burn's office and arranged that £2,000 should be deposited with trustees for the security of the company. Nothing was said by Mr Burn about the withdrawal of the direction for arrest. The plaintiff sought to have the agreement of 18 April set aside.]

FRY J: [474] Where parties are contracting with one another, each may, unless there be a duty to disclose, observe silence even in regard to facts which he believes would be operative upon the mind of the other, and it rests upon those who say that there was a duty to disclose, to shew that the duty existed. Now undoubtedly that duty does in many cases exist. In the first place, if there be a pre-existing relationship between the parties, such as that of agent and principal, solicitor and client, guardian and ward, trustee and cestui que trust, then, if the parties can contract at all, they can only contract after the most ample disclosure of everything by the agent, by the solicitor, by the guardian, or by the trustee. The pre-existing relationship involves the duty of entire disclosure. In the next place, there are certain contracts which have been called contracts uberrimae fidei where, from their nature, the court requires disclosure from one of the contracting parties. Of that description there are well known instances to be found. One is a contract of [475] partnership, which requires that one of the partners should disclose to the other all material facts. So in the case of marine insurance, the person who proposes to insure a ship or goods must make an entire disclosure of everything material to the contract. Again, in ordinary contracts the duty may arise from circumstances which occur during the negotiation. Thus, for instance, if one of the negotiating parties has made a statement which is false in fact, but which he believes to be true and which is material to the contract, and during the course of the negotiation he discovers the falsity of that statement, he is under an obligation to correct his erroneous statement; although if he had said nothing he very likely might have been entitled to hold his tongue throughout. So, again, if a statement has been made which is true at the time, but which during the course of the negotiations becomes untrue, then the person who knows that it has become untrue is under an obligation to disclose to the other the change of circumstances.

It has been argued here that the contract between the surety (for in fact Davies was a surety for Evans) and the creditor, is one of those contracts which I have spoken of as being uberrimae fidei, and it has been said that such a contract can only be upheld in the case of there being the fullest disclosure by the intending creditor. I do not think that that proposition is sound in law. I think that, on the contrary, that contract is one in which there is no universal obligation to make disclosure, and therefore I shall not determine this case on that view. But I do think that the contract of suretyship is, as expressed by Lord Westbury in *Williams v Bayley* (1866) LR 1 HL 200, 219, one which "should be based upon the free and voluntary agency of the individual who enters into it". I think that principle is especially applicable here, because there is no consideration in this case, as in many cases of suretyship, for the contract so entered into; and therefore I think, to use the language of Lord Eldon in *Turner v Harvey* (1821) Jac 169, 178; 37 ER 814, 818, it is a contract in respect of which a very little is sufficient. Very little said which ought not to have been said, and very little not said which ought to have been said, would be sufficient to prevent the contract being valid. It is one, furthermore, in which I think that everything like pressure used by the intending creditor will have a very serious effect on the validity of the contract; and the case is stronger where that pressure is the result of maintaining a false conclusion in the mind of the person pressed.

[476] Now, to apply these observations to this case, it will have been seen, from what I have already said, that I think the payment of money into the bank on the 18 April was produced by what had been said by Major Daniell and by Mr Burn at the first interview on the 15 April; that it was produced by the belief that the company had a probable cause for prosecution; by the belief that, as a matter of fact, they did intend to prosecute; by the belief that the police were instructed to arrest Evans; and those things having been stated at the earlier interview of the 15th, it was, in my opinion, the duty of Mr Burn to state at the second interview that those facts no longer existed. I think that the language in which he assented to and upheld the erroneous impression of Mr Gee by speaking of Evans as a person who had embezzled, and by saying that the police should not arrest Evans until Tuesday, were sufficient circumstances in themselves to render it impossible that the payment of money produced

Davies v London & Provincial Marine Insurance Co cont.

by that pressure and by those representations should be valid. I think there was that little which is quite enough to prevent the contract from being upheld …

Judgment for the plaintiff.

[32.50] **Note**

1. In *Curwen v Yan Yean Land Co Ltd* (1891) 17 VLR 745, Lyon, a successful land speculator, induced Curwen to take shares in a company by representing that he and two other well-known speculators were also taking shares. This was true. However, the land that the company was to acquire belonged to Lyon and the two others, and the purchase price was very high. The Full Supreme Court upheld the setting aside of the contract. Higinbotham CJ said (at 751): "A true representation, coupled with concealment, thus became a positive misrepresentation calculated to deceive and which did in fact deceive the plaintiff to his detriment". A'Beckett J said (at 753): "the suppression of the fact that the persons represented as buyers are also sellers amounts to a misrepresentation."
2. In *Westpac Banking Corporation v Robinson* (1993) 30 NSWLR 668, 689–90, Clarke JA said:

> the rule concerning contracts of guarantee stands apart from the rule applicable in cases such as contracts uberrimae fidei and the general rule relating to contracts and requires disclosure of facts only if concealment of those facts would otherwise misrepresent the transaction which the guarantor is undertaking to guarantee. In general, it would only be the non-disclosure of those circumstances which were not naturally to be expected which would misrepresent the material features of that transaction …

Accordingly, it was held in that case that the bank was under no duty to disclose to a prospective guarantor of a customer's account the fact that the account had been overdrawn. Where a guarantee is required it is "naturally to be expected" that the bank is not satisfied with the customer's credit.

See further Gibbs CJ in *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447, at [36.30].

McKenzie v McDonald

[32.55] *McKenzie v McDonald* [1927] VLR 134 (Supreme Court of Victoria) – Trial of Action.

[FACTS: The *plaintiff*, a widow with pressing financial obligations, desired to sell a farm of which she was the owner in order to purchase a home in Melbourne of which she was in urgent need. She engaged the *defendant*, a real estate agent, to find a suitable home for her and to sell the farm. The agent, who was well acquainted with her financial and family problems, inspected the farm and obtained apparently reliable information as to what it was worth. He did not pass this information on to the plaintiff but wrote her a letter unduly deprecating the farm and suggesting that she accept a lower price than the one she was asking. Some time later, he wrote to her again, suggesting that she exchange the farm for a suburban house and dwelling which he owned on terms most advantageous to him and correspondingly disadvantageous to the plaintiff. On 25 September 1925, the plaintiff

McKenzie v McDonald cont.

signed the necessary contract to give effect to this scheme; and on 7 May 1926, the defendant resold the farm to a third party at an increased price and on extended terms. On 20 May 1926, the plaintiff commenced an action in which she claimed rescission of the agreement, the re-transfer of the properties, accounts and, alternatively, damages for deceit and negligence.]

DIXON AJ: [135] In this action the plaintiff complains that she was induced by the defendant's breach of duty to enter into and complete an agreement with the defendant for the exchange of her farm for his shop.

The breaches of duty relied upon are deceit, negligence as an agent and abuse of confidential relationship. The relief sought is, in substance, restoration of the parties to their former position or compensation for loss …

[143] The plaintiff impeaches the transaction of exchange upon the [144] ground that a confidential relationship had been established between herself and the defendant "in hac re", which placed him under a duty of full disclosure and impartial and fair dealing when he assumed the position of a contractor with her.

In *Davies v London and Provincial Marine Insurance Co* (1878) 8 Ch D 469, 474, Fry J says:

> If there be a pre-existing relationship between the parties, such as that of agent and principal, solicitor and client, guardian and ward, trustees and cestui que trust, then, if the parties can contract at all, they can only contract after the most ample disclosure of everything by the agent, by the solicitor, by the guardian, or by the trustee.

The relation referred to is one of confidence, but not necessarily one of influence: see *Moody v Cox and Hatt* [1917] 2 Ch 71, 80 per Lord Cozens Hardy.

In the statement of the categories of relations of confidence, principal and agency is commonly included, but it must be remembered that it is not every agent who stands in such a relation to his principal:

> No word is more commonly and constantly abused than the word "agent". A person may be spoken of as an "agent", and no doubt in the popular sense of the word may properly be said to be an "agent", although when it is attempted to suggest that he is an "agent" under such circumstances as create the legal obligations attaching to agency, that use of the word is only misleading: *Kennedy v De Trafford* [1879] AC 180, 188 per Lord Herschell.

[145] Did the defendant occupy such a position of confidence towards the plaintiff as to bring him within the equitable requirements of full disclosure and fair open dealing? In my opinion he did. He assumed the function of advising and assisting a woman in a difficult situation in the acquisition of a residence by means of the disposal or pledging of her property. He was necessarily furnished with an intimate knowledge of her financial position, her obligations, and family needs. He proceeded to advise her upon the wisdom and practicability of raising money by mortgage, and acted for her in an effort to do so. He undertook the sale of her farm, and acquired such information as he could in relation to it, and offered his counsel as to its condition and the price she had asked and in effect should ask. In this circumstance he was, in my opinion, an agent who came within "the rule of the court; which, however, does not prevent an agent from purchasing from his principal, but only requires that he shall deal with him at arm's length, and after a full disclosure of all that he knows with respect to the property": *Murphy v O'Shea* (1845) 2 Jones & Lat 422, 425; 69 ER 337, 339–40, per Sir E Sugden LC.

This is part of: "that great rule of the court, that he who bargains in matter of advantage with a person placing confidence in him is bound to show that a reasonable use has been made of that confidence; a rule applying to trustees, attorneys or anyone else": *Gibson v Jeyes* (1801) 6 Ves J 266, 278; 31 ER 1044, 1050 per Lord Eldon.

> A principle … resting upon grounds connected with the clearest principles of equity and the general security of contracts, viz that an agent to sell shall not convert himself into a purchaser unless he can make it perfectly clear that he furnished his employer with all the

McKenzie v McDonald cont.

knowledge which he himself possessed: *Lowther v Lord Lowther* (1806) 13 Ves J 95, 103; 33 ER 230, 233 per Lord Erskin.

No attempt has been made by the defendant to show that he made a reasonable use of the confidence placed in him, or that he furnished the plaintiff with all the knowledge which he himself possessed. On the contrary, the evidence affirmatively proves, I think, that he set out to make a bargain with her as advantageous to himself as possible, and to that end suppressed the opinion he had obtained, [which] he knew to be well informed, that the land could be sold at £4 10s per acre, and that the tenant [146] might be expected to buy at that price, took no steps to find a purchaser, and wrote a misleading and untruthful report which he intended to dishearten his client … I think he misstated his motives and intentions, under-estimated somewhat the value of the farm, grossly over-estimated the value of the shop, and adopted a form of expression, in dealing with the income she would receive, likely to mislead her.

In these circumstances, the plaintiff was entitled to have the agreement of exchange of 25 September 1925, set aside.

[His Honour then held that as the rights of third parties had intervened in that the farm had been sold and remortgaged, it was proper to decree the payment of compensation rather than rescission. His Honour then dealt with the claims for damages for negligence and deceit and held that they had not been made out.]

Judgment for the plaintiff.

[32.60] **Note**

A *fiduciary* is a person who is reasonably expected by another (the beneficiary) to subordinate self-interest and act in the interests of the beneficiary. The primary obligations of a fiduciary are to avoid a conflict of interest between the duty to the beneficiary and the interests of the fiduciary and not to profit from the position of trust enjoyed by the fiduciary. If the fiduciary is entering into a contract with the beneficiary, full disclosure of all material facts to the beneficiary will be demanded.

In *Hospital Products Ltd v United States Surgical Corp* (1984) 156 CLR 41, 68 Gibbs CJ said:

> The archetype of a fiduciary is of course the trustee, but it is recognized by the decisions of the courts that there are other classes of persons who normally stand in a fiduciary relationship to one another — eg, partners, principal and agent, director and company, master and servant, solicitor and client, tenant-for-life and remainderman. There is no reason to suppose that these categories are closed. However, the difficulty is to suggest a test by which it may be determined whether a relationship, not within one of the accepted categories, is a fiduciary one.

RELIANCE BY THE REPRESENTEE

[32.65] A representee who is seeking relief must be able to establish a causal link between the misrepresentation (whether it be fraudulent, negligent or innocent) and the representee's entry

into the contract. This link is established by proof of *reliance* on the misrepresentation. There are issues to be considered here about the actuality and materiality of the reliance and about the nexus between the representor and representee.

Materiality of misrepresentation

[32.70] Must the representation be "material", in the sense that it would induce a reasonable person to enter the contract?

Nicholas v Thompson

[32.75] *Nicholas v Thompson* [1924] VLR 554 (Supreme Court of Victoria, Full Court) – Appeal from Schutt J.

[FACTS: The *plaintiffs*, Alfred and George Nicholas, entered into two contracts with the *defendant*, Albert Thompson, under which they agreed to purchase the defendant's interest in a speculative venture concerning a new film process for £10,000. During the course of the negotiations, Thompson represented that he had been offered a very large sum of money for his interest and had refused to sell: para 3(f) of the statement of claim. In this action, the plaintiffs sought to rescind the contracts and to recover the £10,000 on the basis that the representation was fraudulent and had induced them to enter into the contracts. At the trial, the jury found that the representation made by Thompson was false to his knowledge and induced the plaintiffs to enter into the contract. Upon these findings, Schutt J entered judgment declaring that the contracts were void and directing that the defendant should repay the £10,000. The defendant appealed on various grounds.]

McARTHUR J: [574] Ground 7 is "that the learned judge should have held that the said alleged statements were not capable in law of being construed as a material representation." It is not misdirection that is complained of here. It is that the learned judge should have withdrawn altogether from the consideration of the jury the allegations contained in para 3(f) of the statement of claim.

Mr Cohen's contention was:

(1) that the statements were not and could not in law be regarded as representations of fact;

(2) that the statements were not and could not be regarded in law as material.

In an action such as this the representation relied upon must no doubt be a representation of fact as distinguished from a mere expression of opinion, including in the phrase "representation of fact" statement of belief or intention, which in some circumstances may be said to be statements of fact, as in *Edgington v Fitzmaurice* (1885) 29 Ch D 481.

The statement found by the jury to have been made by the defendant, that "he had been offered a very large sum of money for his interest, and that he had refused such offer", is, in my opinion, a statement of fact. That he had received an offer and that he had refused the offer are statements of definite facts; that he had been offered a very large sum of money is a statement of an indefinite fact, but it is nonetheless a statement of fact. It is capable of proof or disproof, it being (in the event of an issue being raised with regard to it) a question for the jury to say whether the amount proved to have been offered could reasonably be described as a very large amount or not …

[575] In support of his contention "that the statements were not and could not be regarded in law as material", Mr Cohen argued, first, that it is an essential part of the cause of action that the statement was a material statement; and, secondly, that to constitute a material statement the statement must be of such a nature that it would be likely to induce an ordinary, reasonable man (as distinguished from the particular plaintiff in the particular case) to enter into the contract. He pushed this argument to this length, that, even if a false statement were made for the purpose of inducing a person to enter into a contract, and such person were in fact thereby induced to do so, he would have no remedy against the person making the statement unless he could prove, not only that the

Nicholas v Thompson cont.

statement induced *him* but that it was of such a nature that it would have been likely to have induced an ordinary reasonable man. In my opinion this argument is untenable.

In the first place, notwithstanding opinions to the contrary expressed by text writers (see *Kerr on Fraud* (5th ed), pp 43, 44; *Spencer-Bower on Misrepresentation*, p 11, art 28; *Halsbury's Laws of England*, vol XX, p 724, s 1722, written by Mr Spencer-Bower), I doubt whether it is strictly and technically an essential part of the [576] cause of action, which must be alleged and proved, that the statement was a material statement. If the defendant makes the statement for the purposes of inducing, and the plaintiff is thereby induced, that, I think, is sufficient: see *Smith v Kay* (1859) 7 HLC 750. In the form given in *Bullen and Leake's Precedents of Pleading* (3rd ed), pp 334–5, and (7th ed), pp 320–1, there is no allegation – no express allegation, at all events – that the statement was material. In the earlier edition the allegation is that the representation was made "with the intent to induce"; in the later edition it is "in order to induce".

In *Smith v Kay* the headnote, based on the judgment of Lord Chelmsford LC puts the proposition shortly thus: "When a party has practised a deception with a view to a particular end which has been attained by it, he cannot be allowed to deny its materiality."

Lord Chelmsford LC says (at 758):

> The bill, therefore, being taken to contain a sufficient statement of a case against Smith, the next objection which he makes is that the representation which is alleged, if proved, is immaterial, as it could not have been the cause of the securities being given.

And he says that the only point which could vitiate the securities would be a fraud dans locum contractui – that is, such a fraud as occasioned the contract:

> Now, it is contended [says his Lordship at 759] that this representation is wholly immaterial, that it was perfectly indifferent to Kay in what manner Smith became the holder of the bills, provided he gave consideration for them, and that if Kay had been told the whole truth he would equally have been willing to give the securities. But can it be permitted to a party who has practised a deception, with a view to a particular end which has been attained by it, to speculate upon what might have been the result if there had been a full communication of the truth? …

[577] The materiality of the statement is no doubt of great importance as evidence from which the inference may be drawn, first, that it was made for the purpose of inducing, and, secondly, that it did in fact induce (Lord Blackburn in *Smith v Chadwick* (1884) 9 App Cas 187, 196, and Lord Selbourne LC 190; and Lord Halsbury LC in *Arnison v Smith* (1889) 41 Ch D 348, 369) and no doubt in practice it has in almost all cases to be proved; but it does not appear to me to be, strictly speaking, an essential element of the cause of action …

But, supposing it is an essential element of the cause of action, the next question is: What is meant by "materiality"? It is defined thus in Lord Halsbury's *Laws of England*, vol XX, p 698, s 1681: "A representation is material when its tendency or its natural and probable result is to induce the representee to act on the faith of it in the kind of way in which he is proved to have in fact acted." And at 699, s 1683, the learned author goes on to say:

> It must [578] be remembered, however, that a tendency to induce means a tendency to induce the particular representee in the proved or admitted circumstances of the case. Where there is nothing special in such circumstances, it is sufficient to prove that, in the ordinary course of events, the natural and probable effect of the representation was to influence the mind of a normal representee in the manner alleged. But, to the knowledge of the representor, there may be special circumstances or peculiarities in the moral or mental constitution, or in the situation, of the representee, of such a character as to render the particular representation of the utmost importance to the particular representee to whom it was addressed, though it would be utterly inoperative on the mind of a normal person under normal conditions. In all such cases the representation is material as between the parties.

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It is not necessary that the statement should be of such a nature that, if taken as true, it would add to the value of the subject matter of the representation. See, for example, such cases as *Kent v Freehold Land & Brickmaking Co* (1867) LR 4 Eq 588, and *Lindsay Petroleum Co v Hurd* (1874) LR 5 PC 221, where it was held that a false statement by the vendor of the price he gave for the property was a material misrepresentation of fact. And see that class of cases of which *Phillips v Duke of Buckingham* (1684) 1 Vern 227; 23 ER 432 and *Gordon v Street* [1899] 2 QB 641, are examples, where false statements as to the identity of the person with whom the representee is dealing were held to be material misrepresentations ….

[579] There was, I think, ample evidence in the present case to justify the jury in finding that, to the knowledge of the defendant, the relationship between the plaintiffs and defendant, and the special circumstances of the case, were such that the statement found to have been made by the defendant to the plaintiffs would be likely to operate on the minds of the plaintiffs as an inducing cause, and I am therefore of opinion that the statement was capable of being a material statement. I am also of opinion that the jury, having found that the plaintiffs were in fact induced by the statement to enter into the [580] contract, and the evidence being all one way, that the statement was made for the purpose of inducing them to do so, the defendant cannot now be heard to say that the statement was not material: *Smith v Kay* (1859) 7 HLC 750; 11 ER 299. For these reasons I am of the opinion that the seventh ground of appeal fails …

[WEIGALL AJ concurred. CUSSEN ACJ delivered a judgment concurring with McArthur J, in the course of which he said (at 566):

> The matter may be tested in this way. Supposing the defendant had admitted that the misrepresentation was made in order to induce, and that it did induce, could he insist that the plaintiffs were bound to prove, in addition, something not expressly alleged; namely, that it was material? I do not think so.]

Appeal dismissed.

Actuality of reliance

[32.80] Did the representee actually rely on the representation? In particular, is there reliance, for example, where the representee was influenced by other factors as well as the representation, or where the representor gave the representee an opportunity to discover the truth, or where the representee made her or his own investigations?

Redgrave v Hurd

[32.85] *Redgrave v Hurd* (1881) 20 Ch D 1 (Court of Appeal) – Appeal from Fry J.

[FACTS: The *plaintiff*, a solicitor, published in the Law Times an advertisement headed "Law Partnership", stating that the advertiser, an elderly solicitor of moderate practice, with extensive connections, shortly retiring and having no successor, would first take as partner an efficient lawyer who would not object to purchasing the advertiser's suburban residence, value £1,600. The *defendant* answered the advertisement, and had an interview with the plaintiff, at which the latter stated that his business brought in about £300 a year. The defendant asked for details about the amount of business done for the last three years and asked for an interview for this purpose. At this interview, the plaintiff produced three summaries showing a business of not quite £200 a year. The defendant asked how the difference was made up, and the plaintiff showed him a number of papers which he said related to other business not included in the summaries. These papers, which the defendant did not examine, showed only a most trifling amount of business, and the gross returns of the business were in fact only

Redgrave v Hurd cont.

about £200 a year. The defendant shortly afterwards signed an agreement to purchase the house for £1,600 and paid a deposit. The plaintiff refused to have any reference to the business inserted in the agreement. The defendant took possession, but finding, as he alleged, that the business was worthless, refused to complete. The plaintiff brought an action for specific performance. The defendant put in a defence, in which he disputed the right to specific performance on the ground of misrepresentations as to the business and by counterclaim claimed on the same ground to have the contract rescinded. The defendant also sought damages on the ground of the expenses he had been put to and the loss incurred by giving up his own practice.

Fry J held that the defendant having had opportunity afforded him of ascertaining the truth of the representations as to the amount of the business, and having to some extent, though carelessly and inefficiently, inquired into it, must be taken not to have relied on the representations and that the plaintiff was entitled to specific performance. The defendant appealed.]

BAGGALLAY LJ: [22] The mere fact that a party has the opportunity of investigating and ascertaining whether a representation [23] is true or false is not sufficient to deprive him of his right to rely on a misrepresentation as a defence to an action for specific performance. The person who has made the misrepresentation cannot be heard to say to the party to whom he has made that representation, "You chose to believe me when you might have doubted me, and gone further." The representation once made relieves the party from an investigation, even if the opportunity is afforded. I do not mean to say that there may not be certain circumstances of suspicion, which might put a person upon inquiry, and make it his duty to inquire, but under ordinary circumstances, the mere fact that he does not avail himself of the opportunity of testing the accuracy of the representation made to him will not enable the opposing party to succeed on that ground. The case of *Rawlins v Wickham* (1858) 3 De G & J 304; 44 ER 1285, is a very strong illustration of the application of that principle. There, a person who had been induced by false representations to enter into a partnership continued in that partnership for four years, and then for the first time discovered the fraud which had been practised upon him. He was held entitled to relief, though at any time during that period he might have investigated matters for himself. It is true that in the present case there was some investigation, but it was an investigation of a most cursory character, which could not have enabled the defendant to ascertain the truth or the falsity of the representation that had been made. So far, therefore, as the conclusions arrived at by the learned judge, upon consideration of the oral testimony on that second point are concerned, I am unable to agree with him …

[JESSEL MR and LUSH LJ delivered similar judgments. The defendant's counterclaim failed so far as damages were concerned because he had not pleaded knowledge on the part of the plaintiff that the allegations were untrue nor had he pleaded the allegations themselves in sufficient detail to found the action for deceit.]

Appeal allowed.

[32.90] Note

In *Gould v Vaggelas* (1985) 157 CLR 215, 236 Wilson J (with the agreement of Gibbs CJ and Dawson J) said the principles relating to inducement can be stated as follows:

1. Notwithstanding that a representation is both false and fraudulent, if the representee does not rely upon it he has no case.
2. If a material representation is made which is calculated to induce the representee to enter into a contract and that person in fact enters into the contract there arises a fair inference of fact that he was induced to do so by the representation.

3. The inference may be rebutted, for example, by showing that the representee, before he entered into the contract, either was possessed of actual knowledge of the true facts and knew them to be true or alternatively made it plain that whether he knew the true facts or not he did not rely on the representation.
4. The representation need not be the sole inducement. It is sufficient so long as it plays some part even if only a minor part in contributing to the formation of the contract.

In *Edgington v Fitzmaurice* (1885) 29 Ch D 459 (see facts set out at [32.25]) the plaintiff advanced money on the debentures relying on the misstatement in the prospectus issued by the directors, but also because he mistakenly thought that he would have a charge on the company's assets. Counsel for the defendant directors argued that it was this mistaken notion which really induced the plaintiff to advance his money. Replying to this argument Cotton LJ said:

> It is true that if he had not supposed he would have a charge he would not have taken the debentures, but if he also relied on the misstatement in the prospectus, his loss nonetheless resulted from that misstatement. It is not necessary to show that the misstatement was the sole cause of his acting as he did. If he acted on that misstatement, though he was influenced by an erroneous supposition, the defendants will be still liable.

Bowen LJ said (at 483) that if the plaintiff's mind "was disturbed by the misstatement of the defendant, and such disturbance was in part the cause of what he did, the mere fact of his also making a mistake himself could make no difference".

CHAPTER ***33***

Misleading or deceptive conduct

[33.10] THE TRADE OR COMMERCE LIMITATION 924
[33.15] *Concrete Constructions (NSW) v Nelson* 924
[33.25] *O'Brien v Smolonogov* 928
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[33.05] Misleading or deceptive conduct is prohibited by s 18 of the *Australian Consumer Law* (ACL), which provides that: "[a] person shall not, in trade or commerce, engage in conduct that is misleading or deceptive or is likely to mislead or deceive".

The ACL also contained specific prohibitions against various kinds of false representations and misleading conduct: see Ch 3 of the ACL.

Section 18 does not create liability. Rather, it creates a statutory norm or standard of conduct in trade or commerce. A person who has suffered loss by conduct that breaches s 18 is entitled to damages to compensate them for that loss (s 236) (see [33.170]–[33.235]). The court is also given the power to grant any other order it thinks fit to prevent loss being suffered as a result of a breach of s 18, including declarations that a contract is void, or is to be varied, or that a person should refund money or return property (ACL, ss 237 and 243) (see [33.240]–[33.260]).

The provisions of the ACL considered in this chapter came into force on 1 January 2011. By necessity, this chapter extracts and discusses cases heard under the former regime. Thus, some familiarity with the former regime is necessary. Prior to the introduction of the ACL, s 52 of the *Trade Practices Act 1974* (Cth) (TPA) prohibited corporations from engaging, in trade or commerce, in conduct that is misleading or deceptive or likely to mislead or deceive. Equivalent provisions in all States and Territories applied to *persons* who engaged in misleading or deceptive conduct in trade or commerce. The following table identifies the key provisions of the TPA which are referred to in the cases considered and identifies the equivalent provisions in the ACL.

Nature of provision	**Former regime (TPA)**	**New Regime**
Prohibition against misleading or deceptive conduct	s 52	ACL, s 18
Definition provisions:		
"*engaging in conduct*"	s 4(2)	ACL, s 2(2)
"*involved in*"	s 75B	ACL, s 2(1)
Deeming provision: future representations	s 51A	ACL, s 4 (note: this provision is not identical to TPA, s 51A)
Injunction	s 80	ACL, s 232
Damages	s 82	ACL, s 236
Other orders	s 87	ACL, ss 237 and 243
Reduce damages for failure to take reasonable care	s 82(1B)	CCA, s 137B (note there is no equivalent provision in the State and Territory application laws)

THE TRADE OR COMMERCE LIMITATION

[33.10] In order to be caught by the statutory prohibition, the misleading or deceptive conduct must occur "in trade or commerce". Although this expression is generally given a wide meaning by the courts, it does constitute a limiting factor. The High Court considered the limitation imposed by the phrase in *Concrete Constructions (NSW) Pty Ltd v Nelson* (1990) 169 CLR 594, at [33.15]. The inapplicability of the statutory prohibitions to misleading conduct that induces a contract in a non-commercial context is illustrated by *O'Brien v Smolonogov* (1983) 53 ALR 107, at [33.25]. It is not necessary to show that the person engaging in the conduct was acting in trade or commerce in their own right (see *Houghton v Arms* [2006] HCA 69; (2006) 225 CLR 553). A misrepresentation that is not made in trade or commerce may be actionable under the general law (see Chapter 32).

Concrete Constructions (NSW) v Nelson

[33.15] *Concrete Constructions (NSW) Pty Ltd v Nelson* (1990) 169 CLR 594 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: The appellant (the *company*) was, in July 1987, constructing a building in Grosvenor Square, Sydney. The respondent (the *worker*) was one of the company's employees on the site. He sustained injuries when he fell to the bottom of an air-conditioning shaft while attempting to remove a grate positioned at the entry point of the shaft. He alleged that his injuries were caused by the conduct of the company's foreman who wrongly informed him that the grates at the entry points of

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the air-conditioning shafts were fixed by three bolts on each side and that it was safe to remove them in the manner explained by the foreman. The worker fell down the shaft when one of the grates gave way, by reason of the fact that it was not affixed by bolts or otherwise.

The worker instituted proceedings for damages against the company in the Federal Court. The statement of claim contained the above allegations about the cause of the worker's injury and, attributing the conduct of its foreman to the company, asserted that those injuries were occasioned to the worker "by reason of conduct of the company which was misleading or deceptive or liable to mislead or deceive". By consent, an order was made pursuant to the Federal Court Rules that the following question be decided before trial: "Do the facts pleaded and particularised in the statement of claim give rise to a cause of action?" That preliminary question was argued before Einfeld J in the Federal Court, who answered it in the affirmative. The company appealed to the High Court.]

MASON CJ, DEANE, DAWSON AND GAUDRON JJ: [600] The company's argument that the case does not fall within s 52 is essentially based upon the combined effect of the heading "Consumer Protection" and the section's express confinement of the scope of its provisions to conduct "in trade or commerce" ….

[601] It is well established that the words "trade" and "commerce", when used in the context of s 51(i) of the Constitution, are not terms of art but are terms of common knowledge of the widest import. The same may be said of those words as used in s 52(1) of the Act. Indeed, in the light of the provisions of s 6(2) of the Act which give an extended operation to s 52 and which clearly use the words "trade" and "commerce" in the sense which the words bear in s 51(i) of the Constitution, it would be difficult to maintain that those words were used in s 52 with some different meaning. The real problem involved in the construction of s 52 of the Act does not, however, spring from the use of the words "trade or commerce". It arises from the requirement that the conduct to which the section refers be "in" trade or commerce. Plainly enough, what is encompassed in the plenary grant of legislative power "with respect to … Trade and commerce" in s 51(i) of the Constitution is not of assistance on the question of the effect of the word "in" as part of the requirement that the conduct proscribed by s 52(1) of the Act be "in trade or commerce".

The phrase "in trade or commerce" in s 52 has a restrictive operation. It qualifies the prohibition against engaging in conduct of the specified kind. As a matter of language, a prohibition against engaging in conduct "in trade or commerce" can be construed as encompassing conduct in the course of the myriad of activities which are not, of their nature, of a trading or commercial character but which are undertaken in the course of, or as incidental to, the [603] carrying on of an overall trading or commercial business. If the words "in trade or commerce" in s 52 are construed in that sense, the provisions of the section would extend, for example, to a case where the misleading or deceptive conduct was a failure by a driver to give the correct handsignal when driving a truck in the course of a corporation's haulage business. It would also extend to a case, such as the present, where the alleged misleading or deceptive conduct consisted of the giving of inaccurate information by one employee to another in the course of carrying on the building activities of a commercial builder. Alternatively, the reference to conduct "in trade or commerce" in s 52 can be construed as referring only to conduct which is itself an aspect or element of activities or transactions which, of their nature, bear a trading or commercial character. So construed, to borrow and adapt words used by Dixon J in a different context in *Bank of NSW v The Commonwealth* (1948) 76 CLR 1, at 381, the words "in trade or commerce" refer to "the central conception" of trade or commerce and not to the "immense field of activities" in which corporations may engage in the course of, or for the purposes of, carrying on some overall trading or commercial business.

As a matter of mere language, the arguments favouring and militating against these alternative constructions of s 52 are fairly evenly balanced. The scope of the prohibition imposed by s 52 is, however, governed not only by "the terms in which it is created" but by "the context in which it is found" (see *Yorke v Lucas* (1985) 158 CLR 661, at 668; and, generally, *Bank of NSW v The Commonwealth*, at 285). In that regard, it is of particular significance that the words "trade" and "commerce" have

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"about them a chameleon-like hue, readily adapting themselves to their surroundings" (*O'Brien v Smolonogov* (1983) 53 ALR 107, at 113, quoting *Federal Commissioner of Taxation v Whitfords Beach Pty Ltd* (1982) 150 CLR 355, at 378–9). Section 52(2) precludes limiting the scope of s 52(1) by implication drawn from the contents of other provisions of Pt V. Nonetheless, when the section is read in the context provided by other features of the Act, which is "An Act relating to certain Trade Practices", the narrower (ie the second) of the alternative constructions of the requirement "in trade or commerce" is the preferable one. Indeed, in the context of Pt V of the Act with its heading "Consumer Protection", it is plain that s 52 was not intended to extend to all conduct, regardless of its nature, in which a corporation might engage in the course of, or for [604] the purposes of, its overall trading or commercial business. Put differently, the section was not intended to impose, by a side-wind, an overlay of Commonwealth law upon every field of legislative control into which a corporation might stray for the purposes of, or in connection with, carrying on its trading or commercial activities. What the section is concerned with is the conduct of a corporation towards persons, be they consumers or not, with whom it (or those whose interests it represents or is seeking to promote) has or may have dealings in the course of those activities or transactions which, of their nature, bear a trading or commercial character. Such conduct includes, of course, promotional activities in relation to, or for the purposes of, the supply of goods or services to actual or potential consumers, be they identified persons or merely an unidentifiable section of the public.

In some areas, the dividing line between what is and what is not conduct "in trade or commerce" may be less clear and may require the identification of what imports a trading or commercial character to an activity which is not, without more, of that character. The point can be illustrated by reference to the examples mentioned above. The driving of a truck for the delivery of goods to a consumer and the construction of a building for another pursuant to a building contract are, no doubt, in trade or commerce in so far as the relationship between supplier and actual or potential customer or between builder and building owner is concerned. That being so, to drive a truck with a competitor's name upon it in order to mislead the customer or to conceal a defect in a building for the purpose of deceiving the building owner may well constitute misleading or deceptive conduct "in trade or commerce" for the purposes of s 52. On the other hand, the mere driving of a truck or construction of a building is not, without more, in trade or commerce and to engage in conduct in the course of those activities which is divorced from any relevant actual or potential trading or commercial relationship or dealing will not, of itself, constitute conduct "in trade or commerce" for the purposes of that section. That being so, the giving of a misleading handsignal by the driver of one of its trucks is not, in the relevant sense, conduct by a corporation "in trade or commerce". Nor, without more, is a misleading statement by one of a building company's own employees to another employee in the course of their ordinary activities. The position might well be different if the misleading statement was made in the course of, or for the purposes of, some trading or commercial dealing between the corporation and the particular employee.

The alleged misleading or deceptive conduct of the company's foreman in the present case consisted of an internal communication [605] by one employee to another employee in the course of their ordinary activities in and about the construction of a building. It follows from what has been said above that that conduct was not, for relevant purposes, conduct "in trade or commerce" and would not, if established, constitute a contravention of s 52 of the Act. That being so, the appeal must be allowed and the preliminary question which was answered by the learned primary judge in the affirmative must be answered in the negative.

[33.20] TOOHEY J: [612] The expression "in trade or commerce" recurs throughout Div 1. There [613] is a definition of "trade or commerce" in s 4(1) of the Act but it is geographical and does not assist in resolving the issue presently before the Court. Heydon, *Trade Practices Law* (1989) comments at par 11.210: "The better view is that 'in' means 'within, as part of'. It does not mean 'in connection with' or 'in relation to'. The view that 'in' means 'within' is supported by *Larmer v Power Machinery Pty Ltd* ((1977) 29 FLR 490, at 493). Even so limited, the expression 'in trade or commerce' is a broad one,

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as the s 52 cases indicate. While the conduct must be in the trade or commerce of the defendant, the party deceived need not be in actual or prospective trading relations with the defendant."

The present appeal proceeded on the assumption, tacit if not express, that the conduct said to have been misleading or deceptive must have been conduct in the trade or commerce of the appellant. No doubt, in most cases the focus will be on the nature of the defendant's business but the section is not so limited. It does not, in terms, refer to the trade or commerce of the particular corporation. It seems unlikely, given the nature of the activities with which Pt V, Div 1 of the Act is concerned, that it should be necessary to consider closely the character of a corporation's business and in particular to determine whether or not the conduct relied upon by an applicant or plaintiff can fairly be said to be in the trade or commerce of that corporation. Notions of ultra vires can hardly have a part to play in this area of the law. The position of the expression "in trade or commerce" in s 52(1), and indeed in other sections in Pt V, Div 1, suggests that it is trade or commerce in general terms with which the statute is concerned.

In my view, s 52(1) is aimed at conduct in which a corporation engages when that conduct takes place in a situation which fairly answers the description "in trade or commerce". The words "trade or commerce" are of wide import: see *Re Ku-ring-gai Co-operative Building Society (No 12) Ltd* ((1978) 36 FLR 134, at 139, 167). But their focus is on commercial activity, the providing of goods and services for reward. There is no reason why they should bear a different meaning to that which they bear in s 51(i) of the Constitution, particularly when regard is had to s 6(2) of the Act which seeks to give the Act an additional operation by reference to various heads of power in s 51 of the Constitution. It is of interest to note that in *Larmer*, which was decided fairly soon after the Act came into operation, Nimmo J said (76):

> I do not think that the expression "in trade or commerce" [614] should be given the narrow interpretation contended for by counsel for the company. On the contrary I think the provisions of the Trade Practices Act, including the definition given to the expression in s 4, demand that a very wide meaning be given to it. In my view, the expression is intended to cover the whole field in which the nation's trade or commerce is carried on. I reject the view that it is confined to any particular event which may occur in the conduct of a business which operates within that field.

Even taking such a broad view of s 52(1), the preposition "in" clearly operates by way of limitation. The question is not whether the conduct engaged in was in connexion with trade or commerce or in relation to trade or commerce. It must have been in trade or commerce. While there are dangers in seeking for the meaning of an expression through the substitution of another, the phrase "as part of trade or commerce" does, I think, come close to what is intended. Thus, when the appellant's foreman described the grates as being secured on either side with bolts, that statement must have been made as part of trade or commerce before an action could lie under s 52(1).

[BRENNAN and MCHUGH JJ delivered separate judgments in which they held that s 52 was not restricted to conduct that was of itself of a trading or commercial character, but extended to conduct occurring in the course of carrying on an activity or carrying out a transaction of a trading or commercial character. However, Brennan and McHugh JJ agreed, on other grounds, that the appeal should be allowed]

Appeal allowed.

[33.23] **Notes**

1. Reference is made in the above reasoning to the fact that s 52 was contained in Pt V of the *Trade Practices Act 1974* (Cth) and that Pt V was entitled "Consumer Protection". Mason CJ, Deane, Dawson and Gaudron JJ refer to this in support of the conclusion that s 52 was "not intended to extend to all conduct, regardless of its nature, in which a corporation might engage in the course of, or for the purposes of, its overall trading or commercial business" (at 603–4). Section 18 of the ACL is not contained in a Chapter or Part of the ACL entitled "Consumer Protection". Rather, it is contained in C 2 of the ACL, which is entitled "General Protections". However, there is nothing to suggest that this will result in the courts giving the phrase "in trade or commerce" a different construction. As Kirby P noted in *Public Service Association of New South Wales v Industrial Commission of New South Wales* (1995) 1 NSWLR 627, 640:

   > There is a presumption, useful in statutory interpretation that where a provision of legislation has been passed upon by authoritative decisions of the courts and is later re-enacted, Parliament can be taken, in the absence of a clear intention to the contrary, to know and accept the interpretation given to the legislation.

2. In subsequent decisions, the narrower interpretation of the phrase "in trade or commerce" adopted by Mason CJ, Deane, Dawson and Gaudron JJ has been preferred over the broader interpretation offered by Brennan and McHugh JJ: see, for example, *Houghton v Arms* [2006] HCA 69; (2006) 225 CLR 553, at [33.35].

O'Brien v Smolonogov

[33.25] *O'Brien v Smolonogov* (1983) 53 ALR 107 (Federal Court of Australia, Full Court) – Appeal from a single judge of the Federal Court of Australia.

[FACTS: The *appellants* acquired five adjoining portions of land of a total area of approximately 875 acres. The land was conditional leasehold under the *Crown Lands Consolidation Act 1913* (NSW). In order to apply for permission to build on that land, it would have been necessary to convert it to freehold by paying the appropriate fees and obtaining consent and then amalgamating both portions into one. It was likely that the Shire Council would then grant permission to build on it. No building permit existed in relation to it.

After acquiring the land, the appellants decided that they would like to build on one portion, portion 106 (287 acres), and for the purposes of financing the building, to sell other parts of their holding. On 9 August 1981, they advertised portions 81 and 101 in the *Sunday Telegraph*. The advertisement was inserted under the classification "Farms, Stock, Stations" and read as follows: "JINDABYNE 282 acres, building permit OK magnificent views $45 000 542-1845 (SX)."

The advertisement was seen by the first respondent, who brought it to the attention of the second respondent (together, the *respondents*) and asked him to telephone the number advertised. The second respondent did so and spoke to the first appellant. In the course of this telephone conversation, the first appellant made the following statements about the property that were false or misleading: that the subject land was 13 miles from Jindabyne, was practically on the main road and only one or two gates from it; that there was no problem getting onto the land; that it was very good land; that he had a building permit to build on it and that there was no problem to build a house on it and to bring in materials; and that there was a permanent creek running through the property.

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Following this conversation the parties, on 10 August 1981, entered into a written contract for sale. The contract provided for a purchase price of $50,000 and a deposit of $5,000 which was paid by the respondents. Completion was to take place within eight weeks of the date.

By notice dated 2 October 1981, the respondents purported to rescind the contract and demanded a return of the deposit with interest and costs on the grounds that they were induced to enter into the contract by the false representations. Proceedings were brought by the respondents against the appellants claiming that the appellants made false or misleading statements concerning certain land near Jindabyne contrary to the provisions of s 53A(1)(b) of the *Trade Practices Act 1974* (the Act) [now ACL, s 30] and seeking (inter alia) to recover the loss or damage which they might have suffered by that conduct pursuant to s 82 of the Act [now ACL, s 236].

The trial judge held that he was satisfied, within the meaning of s 53A(1)(b) of the Act, that the false or misleading statements were made in connection with the possible sale of an interest in land and that they concerned either the location of the land, the characteristics of the land or the use to which the land was capable of being put or might lawfully be put. He declared that the contract of sale was and had been void since 2 October 1981; ordered the refund of the deposit and ordered that the appellants were liable to pay to the respondents by way of damages the legal and other costs reasonably incurred in connection with the contract and the purported rescission thereof. The appellants appealed to the Full Court of the Federal Court.]

FOX, SHEPPARD AND BEAUMONT JJ: [108] Since the appellants are individuals, s 53A cannot apply here unless the extended operation of Division I of Part V of the Act provided by s 6(3) is applicable. It is common ground that the extended operation provided for by s 6(3)(a), in its reference to the use of telephonic services, is available here since the respondents say that the offending conduct took place in the course of a telephone conversation (see *The Queen v Australian Industrial Court; Ex parte CLM Holdings Pty Limited* (1977) 136 CLR 235). The telephone conversation in question related to land owned by the appellants which they had advertised for sale and the alleged false or misleading statements concerned the location and characteristics of the land and the use to which it was capable of being put or might lawfully be put …

[110] It is submitted on behalf of the appellants that no contravention of s 53A occurred because the conduct impugned was not something done in trade or commerce. The statements relied on, the argument runs, were private in character and lacked the trade or commercial context required by the terms of s 53A …

[111] The learned Judge accepted that the sale of land by private contract, without more, may not be in trade or commerce but his Honour pointed to the fact that the conduct here complained of involved an invitation by the appellants to the public at large to treat with them. This was done by public advertisements inviting the conduct of negotiations over the telephone. In this way, the learned Judge held, the ordinary means of trade or commerce were utilised for the purpose of selling their land and it follows that the conduct of the appellants was something done in trade or commerce for the purposes of the Act (cf *Bank of New South Wales v Commonwealth* (1978) 76 CLR 1 at p 381).

Although the explanatory memorandum explaining the operation of the Trade Practices Bill, 1974 describes Part V of the Bill as prohibiting "a number of *commercial* practices that are unfair to consumers," (emphasis added), there does not appear to be any Australian authority squarely in point for present purposes … However, some guidance is given by the approach to this question taken in the United States. In a series of decisions under consumer protection legislation, the view has been consistently taken that a private sale of property by an individual is not conduct in trade or commerce for the purposes of that legislation except if done in the course of a business activity or otherwise arising in a "business context" …

[113] In the present case, it cannot be suggested that the lands acquired by the appellants became trading stock (see *Federal Commissioner of Taxation v St Hubert's Island Pty Limited (In Liquidation)* (1978) 138 CLR 211). Nor is it a case where the taxpayer's activities amounted to more than the

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mere realisation of a capital asset and constituted the carrying on of land development (see *Federal Commissioner of Taxation v Whitfords Beach Pty Ltd* (1982) 39 ALR 521). The land itself was not used for any business activity: it was not used for farming or grazing.

It follows, in our opinion, that the only possible feature of the case which could conceivably be relied upon to suggest that the impugned conduct occurred in trade or commerce was the resort by the appellants to a newspaper as a medium of public advertisement of the land and the use made by the parties of the telephone for the purpose of conducting negotiations. It is true, as the learned Judge observed, that the use of such facilities is common practice in the conduct of trade or commerce … [114] But, in our view, the mere use, by a person not acting in the course of carrying on a business, of facilities commonly employed in commercial transactions, cannot transform a dealing which lacks any business character into something done in trade or commerce. Of course, the facilities mentioned have applications which are not commercial in any sense: advertisements in newspapers and the telephone are used by persons for purposes which are not commercial at all. With all respect to the learned Judge, we are not persuaded that resort to them can create the business context required by the reference to "trade or commerce" in s 53A. The conduct complained of was not something done by the appellants in the course of carrying on a business and it lacked trading or commercial character as a transaction. It thus fell outside the scope of s 53A … The appeal should be allowed with costs.

Appeal allowed.

[33.30] **Notes**

1. Before it was repealed, s 53A(1)(b) of the *Trade Practices Act 1974* (Cth) provided that "a corporation shall not, in trade or commerce, in connection with the sale or grant, or the possible sale or grant, of an interest in land or in connection with the promotion by any means of the sale or grant of an interest in land make a false or misleading representation concerning the nature of the interest in the land, the price payable for the land, the location of the land, the characteristics of the land, the use to which the land it capable of being put or may lawfully be put or the existence or availability of facilities associated with the land". Section 30 of the ACL replaces s 53A.
2. The sale by an individual of property or assets used for a business activity has been held to be in trade or commerce. In *Havyn Pty Ltd v Webster* [2005] NSWCA 182, the New South Wales Court of Appeal upheld the trial judge's finding that the sale of a block of six units let out by the respondent (who was an individual) was in trade or commerce.

THE RELEVANT AUDIENCE

[33.40] In order to assess whether conduct is misleading or deceptive it is necessary to identify its likely effect on the audience to whom the conduct is directed. In most pre-contractual scenarios will have been made to specific individuals or small groups, such as another contracting party or a small group of potential contracting parties. The approach to be adopted in such circumstances is set out in *Butcher v Lachlan Elder Realty Pty Ltd* [2004] HCA 60; (2004) 218 CLR 592, at [33.50].

The approach to be adopted when the conduct is directed to the public at large (or sections of the public) was first set out by the High Court in *Campomar Sociedad Limitada v Nike International Limited* [2000] HCA 12; (2000) 202 CLR 45, [103] where the High Court stated:

> Where the persons [to whom the conduct is directed] are not identified individuals to whom a particular misrepresentation has been made … but are members of a class to which the conduct in question was directed in a general sense, it is necessary to isolate by some criterion a representative member of that class.

This observation was recently approved by French CJ in *Campbell v Backoffice Investments Pty Ltd* [2009] HCA 25; (2009) 238 CLR 304, [35].

Members of this group are expected to take reasonable care of their own interests by paying a reasonable level of attention to information provided. Furthermore, they would not react to the conduct in question in an extreme or fanciful way.

Australian Competition and Consumer Commission v TPG Internet Pty Ltd [2013] HCA 54; (2013) 250 CLR 640 (at [33.45]) demonstrates that the hypothetical members of the relevant class or the reasonable individual recipient of information may also be treated as having some knowledge of the subject matter to which the potentially misleading conduct relates.

ACCC v TPG Internet Pty Ltd

[33.45] *Australian Competition and Consumer Commission v TPG Internet Pty Ltd* [2013] HCA 54; (2013) 250 CLR 640 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: The Australian Competition and Consumer Commission argued that TPG's marketing methods were misleading. TPG published advertisements that prominently displayed an attractive monthly flat rate for broadband services and, much less prominently, disclosed that the rate in question was only available when broadband services were bundled with a TPG landline service (costing $30 per month). A set-up fee payable upon installation was equally less prominently displayed.

The primary judge identified the relevant class as "the broad class of Australian consumers around mainland capital cities who were users or potential users of broadband internets services". This group included first-time users but excluded those who knew little or nothing about broadband internet services. The trial judge found that such a group would be aware that such services can be sold bundled or unbundled and would not have a starting assumption as to whether there would be a bundling condition. Given the prominence of the dominant message about unlimited broadband services for a competitive monthly price, a reasonable member of the class identified would conclude that no conditions were attached. The trial judge's finding was upheld by the majority of the High Court. Gageler J dissented. He upheld the reasoning of the Full Federal Court, who had held that the dominant message would not create in the minds of the identified class the impression that there were or were no additional charges or conditions. As a result, the reasonable members of the relevant class would look at the whole advertisement to determine what, if any, conditions applied before reaching a conclusion on the matter.]

FRENCH CJ, CRENNAN, BELL AND KEANE JJ: [16] The advertisements in the second phase of the campaign were deployed from 7 October 2010 until 4 November 2011 ("the revised advertisements"). The revised advertisements were published on or in four national television stations, the same seven radio stations as the initial advertisements, a wider range of national and capital city newspapers, the TPG website and third party websites, national cinema screens, national magazines, coupon booklets left in letter boxes, brochures, public transport, billboards and noticeboards …

ACCC v TPG Internet Pty Ltd cont.

The findings and conclusions of the primary judge

[18] The primary judge proceeded to his conclusions on the basis that TPG's target audience consisted of "the broad class of Australian consumers around mainland capital cities who were users or potential users of broadband internet services." His Honour found that the target audience did not include people who knew little or nothing about broadband internet services. While users of ADSL2+ were more knowledgeable about such services than the general class of users or potential users of internet services, the primary judge found that "this does not impute a high level of knowledge about broadband internet to the ordinary or reasonable consumer."

The bundling condition

[19] His Honour found that the target audience included first time users of ADSL2+ services. The primary judge also found that, by virtue of the array of available internet options, the ordinary or reasonable consumer would not have any starting assumption as to whether TPG's offering was of a separate or bundled service, and would rely on the advertisement for information as to the service offered.

[20] The primary judge found that each advertisement had the same dominant message, namely: "Unlimited ADSL2+ for $29.99 per month". His Honour found that the "ordinary or reasonable consumer taking in only the dominant message would have the impression that the entire cost of the service is $29.99 per month, with no other charges and no obligation to acquire another service"; and the balance of the advertisement which contained that information was not given sufficient prominence to counter the effect of the headline claim.

[21] The primary judge held that the dominant message was false "because – as TPG conced[ed] – to acquire Unlimited ADSL2+ for $29.99 per month a consumer is also obliged to rent a home telephone line from TPG and to pay an additional $30 per month for it." …

The conclusions of the Full Court

[31] [T]he Full Court held that the revised television advertisement, initial and revised radio advertisements, initial and revised newspaper advertisements, initial and revised online advertisements and public transport advertisements were not misleading …

[33] The Full Court did not reject the primary judge's conclusions in relation to the misleading character of the advertisements simply on the basis of a different impression of the facts of the case or the inferences properly to be drawn from those facts. Close examination of the Full Court's reasons shows that their Honours' conclusion reflected differences in point of principle with the approach taken by the primary judge. It is necessary to identify those points of divergence and to note their influence on the conclusions of the Full Court before proceeding to a discussion of the reasons for upholding the approach of the primary judge …

The approach of the primary judge was correct

[45] First, the Full Court erred in holding that the primary judge was wrong to regard the "dominant message" of the advertisements as of crucial importance: neither of the statements of Gibbs CJ in *Puxu* which the Full Court applied was decisive in the circumstances of this case. Secondly, the Full Court erred in failing to appreciate that the tendency of TPG's advertisements to mislead was not neutralised by the Full Court's attribution of knowledge to members of the target audience that ADSL2+ services may be offered as a "bundle".

Puxu

[46] *Puxu* was a case in which the claim of misleading conduct rested "solely on the fact that the appellant sold goods which were virtually identical in appearance to those sold by the respondent". The case was determined on the basis that potential purchasers of furniture costing substantial sums of money were able to inspect the furniture which was on display in the retailer's showroom. The majority of the Court took the view that purchasers would, acting reasonably, pay attention to the label, brand or mark of the suite they were minded to buy and, as a result, would not be misled by

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similarities in the getup of rival products. It was in this context that the observations of Gibbs CJ cited above should be understood.

[47] This case is in stark contrast to *Puxu* in three respects. First, TPG's target audience did not consist of potential purchasers focused on the subject matter of their purchase in the calm of the showroom to which they had come with a substantial purchase in mind. Here, the advertisements were an unbidden intrusion on the consciousness of the target audience. The intrusion will not always be welcome. The very function of the advertisements was to arrest the attention of the target audience. But while the attention of the audience might have been arrested, it cannot have been expected to pay close attention to the advertisement; certainly not the attention focused on viewing and listening to the advertisements by the judges obliged to scrutinise them for the purposes of these proceedings. In such circumstances, the Full Court rightly recognised that "many persons will only absorb the general thrust". That being so, the attention given to the advertisement by an ordinary and reasonable person may well be "perfunctory", without being equated with a failure on the part of the members of the target audience to take reasonable care of their own interests.

[48] Secondly, the Full Court did not recognise that the tendency of the advertisements to mislead was to be determined, not by asking whether they were apt to induce consumers to enter into contracts with TPG, but by asking whether they were apt to bring them into negotiation with TPG rather than with one of its competitors on the basis of an erroneous belief engendered by the general thrust of TPG's message.

[49] It might be said, as TPG did, that consumers, acting reasonably in their own interest, could be expected to obtain a clear understanding of their rights and obligations before signing up with TPG; but to say that is to confuse the question whether the consumer has suffered loss with the anterior question as to whether the advertisement, viewed as a whole, has a tendency to lead a consumer into error. Thus, in *Campbell v Backoffice Investments Pty Ltd* French CJ noted that the question of characterisation as to whether conduct is misleading is "logically anterior to the question whether a person has suffered loss or damage thereby". French CJ observed that characterisation of conduct "generally requires consideration of whether the impugned conduct viewed as a whole has a tendency to lead a person into error" (at [25]). As observed earlier in these reasons, questions of carelessness by consumers in viewing advertisements may be relevant to that question of characterisation.

[50] It has long been recognised that a contravention of s 52 of the TPA may occur, not only when a contract has been concluded under the influence of a misleading advertisement, but also at the point where members of the target audience have been enticed into "the marketing web" by an erroneous belief engendered by an advertiser, even if the consumer may come to appreciate the true position before a transaction is concluded. That those consumers who signed up for TPG's package of services could be expected to understand fully the nature of their obligations to TPG by the time they actually became its customers is no answer to the question whether the advertisements were misleading.

[51] Thirdly, this is not a case where the tendency of TPG's advertisements to lead consumers into error arose because the target audience might be disposed, independently of TPG's conduct, to attend closely to some words of the advertisement and ignore the balance. The tendency of TPG's advertisements to lead consumers into error arose because the advertisements themselves selected some words for emphasis and relegated the balance to relative obscurity. To acknowledge, as the Full Court did, that "many persons will only absorb the general thrust" is to recognise the effectiveness of the selective presentation of information by TPG. The Full Court erred in failing to appreciate the implication of that finding.

[52] It was common ground that when a court is concerned to ascertain the mental impression created by a number of representations conveyed by one communication, it is wrong to attempt to analyse the separate effect of each representation. But in this case, the advertisements were presented to accentuate the attractive aspect of TPG's invitation relative to the conditions which were less attractive to potential customers. That consumers might absorb only the general thrust or dominant

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message was not a consequence of selective attention or an unexpected want of sceptical vigilance on their part; rather, it was an unremarkable consequence of TPG's advertising strategy. In these circumstances, the primary judge was correct to attribute significance to the "dominant message" presented by TPG's advertisements.

The knowledge base of the target audience

[53] It may be accepted that if the hypothetical reasonable consumer is taken to know that ADSL2+ services may be sold as part of a bundle with telephony services, then, if he or she brings that knowledge to bear in a conscious scrutiny of the terms of TPG's offer, he or she might be less likely to form the impression that the offer was of an ADSL2+ service available without a requirement to take and pay for an additional service from TPG. But the circumstance that many consumers might know that ADSL2+ services are commonly offered as a "bundle" was not apt to defuse the tendency of the advertisements to mislead, especially where the target audience is left only with the general thrust or dominant message after the evanescence of the advertisement.

[54] As the primary judge said, the vice of TPG's advertisements was that they required "consumers to find their way through to the truth past advertising stratagems which have the effect of misleading or being likely to mislead them". Given TPG's strategy, the primary judge was entitled to draw the inference that consumers might be enticed to enter into negotiation with TPG without appreciating that TPG's services were, in fact, being offered only as a "bundle". It is pertinent to note again that "many persons will only absorb the general thrust" and that the question is not whether consumers suffered loss by signing up to a contract to accept and pay for TPG's service …

[55] It has long been recognised that, where a representation is made in terms apt to create a particular mental impression in the representee, and is intended to do so, it may properly be inferred that it has had that effect. Such an inference may be drawn more readily where the business of the representor is to make such representations and where the representor's business benefits from creating such an impression.

[56] To say this is not to say that TPG acted with an intention to mislead or deceive: such an intention is not an element of the contravention charged against TPG, and there was no suggestion of such an intention in the ACCC's case. There can be no dispute, however, that TPG did intend to create an impression favourable to its offer in the mind of potential consumers; and that it did intend to emphasise the most attractive component of its offer in order to do so.

[57] It cannot be denied that the terms of the message and the manner in which it was conveyed were such that the impression TPG intended to create was distinctly not that which would have been produced by an advertisement which gave equal prominence to all the elements of the package it was offering to the public. In this regard, it is significant that, as the primary judge noted, TPG considered deploying just such an advertisement and chose not to adopt it, evidently opting to continue with its headline strategy.

[58] It was not open to the Full Court, in the proper exercise of its appellate function, to hold that TPG's advertisements were not misleading.

GAGELER J:

[74] The question the Full Court was obliged to determine for itself fell to be addressed against the following background. DSL broadband internet services, which have been supplied widely in Australia since 2003, are delivered over copper wires of the kind used to deliver home telephone services. By the time TPG launched its advertising campaign in 2010, DSL broadband internet services had for some years been marketed widely, had often been marketed bundled with home telephone line rental, and commonly had a setup fee. Until recently, it had not been possible to acquire DSL broadband internet services without actually having a home telephone service.

[75] Against that background, the essential difference between the Full Court and the primary judge concerned the level of sophistication each attributed to the ordinary and reasonable consumer

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or potential consumer of broadband internet services during the period of TPG's advertising campaign in 2010 and 2011.

[76] The Full Court considered that an ordinary consumer of broadband internet services who was sufficiently aware of DSL broadband internet services potentially to be misled by those advertisements would also be aware that DSL broadband internet services were often bundled with home telephone line rental and commonly had a setup fee. The consumer would not form an impression, merely from a headline reference to "Unlimited ADSL2+ $29.99 per month", that what was being advertised was a stand-alone DSL service for a stand-alone price of $29.99 per month. The consumer would look to the whole of the advertisement in the first place. Looking to the whole of the advertisement, the consumer would form an impression as to whether the headlined DSL service was or was not being bundled with home telephone line rental and did or did not have a setup fee.

[77] The question, as the Full Court saw it, was therefore not whether the fine print of an advertisement was sufficient to dispel a "dominant message" conveyed by its headline. The question was whether the ordinary and reasonable consumer or potential consumer of broadband internet services, looking with an open mind to the whole of the advertisement, would be likely in fact to have formed an impression that what was being advertised was a stand-alone DSL broadband internet service for a stand-alone price of $29.99 per month.

[78] In my opinion, the Full Court made no error of principle in framing the ultimate question of fact that way and it was open to the Full Court to answer that question in the way it did: yes for the initial television advertisements; but no for the other advertisements. The Full Court did not, as the ACCC sought to advance, err in the exercise of its appellate function.

[79] … The Full Court concluded that the ordinary and reasonable consumer, aware that the headlined DSL service might or might not be bundled with home telephone line rental and might or might not have a setup fee, and looking to the whole of the advertisement, would not be likely to have been led by the headline reference to unlimited DSL broadband internet services into thinking that what was being advertised was less than the bundle comprising all three components …

[81] Telling also in favour of the Full Court's conclusion that the hypothetical ordinary and reasonable consumer would not be likely to have been misled (although obviously not determinative of that conclusion) was the dearth of evidence of any actual consumer being misled by any advertisement, even to the point of doing no more than contacting TPG to make an inquiry, despite TPG's advertisements having run nationally for a period of some 13 months.

[82] Nothing for present purposes can, in my opinion, be made of TPG's choice to adopt a headline strategy in the advertisements, and to maintain that strategy in the face of ACCC opposition. Some other background facts are here important. TPG's pricing of two components of the bundle was unremarkable: TPG's competitors routinely charged $29.95 per month as the basic monthly access fee for a standard telephone service and between $80 and $200 for setup. The range of charges for basic telephone services had by 2010 been static for several years. The supply of DSL services, on the other hand, was hotly contested, with suppliers differentiating their services based on speed, usage quotas, period and price. The TPG offering was significant as being one of the first to have unlimited downloads.

[83] Within that market context, TPG understandably focussed in its advertisements on the component of its bundle which differentiated its services from those of its competitors and which TPG considered would be most attractive to consumers: unlimited downloads for $29.99 per month. It does not follow that TPG thereby intended to, was likely to, or did, lead consumers into error as to the existence of the other components.

[84] Given my view on contravention, my conclusions on penalty can be stated quite briefly. In circumstances where the Full Court overturned findings of fact by the primary judge which impacted on the extent of TPG's contravening conduct, the Full Court was obliged to go on to determine the appropriate penalty for itself. That is what the Full Court did in its separate and subsequent judgment

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on penalty, delivered nearly ten months after the primary judge had ordered, amongst other things, injunctions and corrective advertising. The Full Court did not ignore the importance of deterrence. The Full Court treated the remaining contraventions as serious. The Full Court nevertheless took into account the impact on TPG of the decision of the primary judge, including being required to write to customers telling them it had engaged in misleading and deceptive conduct and being forced immediately to terminate its advertising campaign, which the Full Court itself found not to breach the Act. I can see no error of principle in the Full Court's reasoning and cannot regard the size of the penalty it imposed as manifestly inadequate.

[85] I would dismiss the appeal.

Butcher v Lachlan Elder Realty

[33.50] *Butcher v Lachlan Elder Realty Pty Ltd* [2004] HCA 60; (2004) 218 CLR 592 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: The appellants were the successful bidders at an auction for the sale of a waterfront house and land (the "Rednal land") at Pittwater in Sydney which they planned to live in, redevelop and then on-sell. Following the auction they entered into a written contract to purchase the property for $1.36 million and paid a deposit to the vendor of $200,000. The respondent was a suburban real estate agent who acted for the vendors. Prior to the auction an employee of the respondent provided the appellants with a brochure which reproduced a survey diagram of the property and told them that the brochure contained "all of the details of the property". The boundary of the freehold property was the mean high-water mark. The diagram clearly indicated that a swimming pool on the property was above the mean high-water mark and therefore within the boundaries of the freehold property. The brochure consisted of a single, double-sided piece of paper printed with photographs and a description of the property. On both sides of the sheet were the words:

> All information contained herein is gathered from sources we deem to be reliable. However, we cannot guarantee it's [sic] accuracy and interested persons should rely on their own enquiries.

Before the auction one of the appellants, accompanied by an architectural designer, inspected the property with a representative of Lachlan Elder and discussed the possibility of moving the pool to create a larger entertaining area. After entering into the contract the appellants discovered that the swimming pool in fact extended beyond the mean high-water mark onto reclaimed land and was therefore not entirely within the boundary of the freehold property. This made it impossible to move the pool as planned. The appellants refused to complete the contract. The vendor treated the deposit as forfeited. The appellant sought damages against the respondent for misleading or deceptive conduct. The trial judge held that the respondent had not engaged in misleading conduct because it had simply passed the information on and had disclaimed any representation about the accuracy of the diagram. The Court of Appeal dismissed an appeal from the appellants. The appellants appealed to the High Court.]

GLEESON CJ, HAYNE AND HEYDON JJ:

[604] *The relevant class addressed*. Questions of allegedly misleading conduct, including questions as to what the conduct was, can be analysed from two points of view. One is employed in relation to "members of a class to which the conduct in question [is] directed in a general sense" (*Campomar Sociedad Limitada v Nike International Ltd* (2000) 202 CLR 45 at 85), [103] per Gleeson CJ, Gaudron, McHugh, Gummow, Kirby, Hayne and Callinan JJ). The other, urged by the purchasers here, is employed where the objects of the conduct are "identified individuals to whom a particular misrepresentation

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has been made or from whom a relevant fact, circumstance or proposal was withheld"; they are considered quite apart from any class into which they fall (*Campomar Sociedad Limitada v Nike International Ltd* (2000) 202 CLR 45 at 85, [102] – [103]). Adoption of the former point of view requires isolation by some criterion or criteria of a representative member of the class. To some extent the trial judge adopted the former approach, pointing out that the class – potential home buyers for Pittwater properties in a price range exceeding $1 million – was small (as suggested by the fact that only 100 brochures were printed), and its members could be expected to have access to legal advice.

The former approach is common when remedies other than those conferred by s 82 (or s 87) of the Act are under consideration. But the former approach is inappropriate, and the latter is inevitable, in cases like the present, where monetary relief is sought by a plaintiff who alleges that a particular misrepresentation was made to identified persons, of whom the plaintiff was one. The plaintiff must establish a causal link between the impugned conduct and the loss that is claimed. That depends on analysing the conduct of the defendant in relation to that plaintiff alone. So here, it is necessary to consider the character of the particular conduct of the particular agent in relation to the particular purchasers, bearing in mind what matters of fact each knew about the other as a result of the nature of their dealings and the conversations between them, or which each may be taken to have [605] known. Indeed, counsel for the purchasers conceded that the mere fact that a person had engaged in the conduct of supplying a document containing misleading information did not mean that that person had engaged in misleading conduct: it was crucial to examine the role of the person in question.

[33.55] *The relevant principles*. In *Yorke v Lucas* (1985) 158 CLR 661 at 666, Mason A-CJ, Wilson, Deane and Dawson JJ said that a corporation could contravene s 52 even though it acted honestly and reasonably:

> That does not, however, mean that a corporation which purports to do no more than pass on information supplied by another must nevertheless be engaging in misleading or deceptive conduct if the information turns out to be false. If the circumstances are such as to make it apparent that the corporation is not the source of the information and that it expressly or impliedly disclaims any belief in its truth or falsity, merely passing it on for what it is worth, we very much doubt that the corporation can properly be said to be itself engaging in conduct that is misleading or deceptive.

In applying those principles, it is important that the agent's conduct be viewed as a whole. It is not right to characterise the problem as one of analysing the effect of its "conduct" divorced from "disclaimers" about that "conduct" and divorced from other circumstances which might qualify its character. Everything relevant the agent did up to the time when the purchasers contracted to buy the Rednal land must be taken into account. It is also important to remember that the relevant question must not be reduced to a crude inquiry: "Did the agent realise the purchasers were relying on the diagram?" To do that would be impermissibly to dilute the strict liability which s 52 imposes.

For the following reasons, the agent did not engage in conduct towards the purchasers which was misleading. Whatever representation the vendor made to the purchasers by authorising the agent to issue the brochure, it was not made by the agent to the purchasers. The agent did no more than communicate what the vendor was representing, without adopting it or endorsing it. That conclusion flows from the nature of the parties, the character of the transaction contemplated, and the contents of the brochure itself.

[33.60] *The nature of the parties*. The parties were, on the one side, a company director and his de facto wife. They engaged in a carpet cleaning business conducted from their home. They were proposing to [606] engage in an investment for family purposes. The search for and making of that investment was the result of a three to five year plan designed to achieve long-term financial security, to educate their four children, and to provide for the wellbeing of the family. The plan involved making strategic investments in properties and shares. It involved the sale of an apparently valuable motor yacht. The purchasers were contemplating the expenditure of over $1 million to be funded by

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the sale of another piece of valuable land for over $1 million – land which, according to the agent, had had "absolutely magnificent" renovations effected and for which the purchasers hoped to get at least $1.2-1.3 million. The purchasers were persons who were quite wealthy, and certainly aspired to become wealthier, by means of complex property and financial dealings. The transcript of their oral evidence reveals each of the purchasers to have been intelligent, shrewd and self-reliant. No doubt they appeared that way to the officers of the agent.

On the other side, the relevant party was a suburban real estate agent – a corporation, a franchisee of L J Hooker, but still a suburban real estate agent, which took the name of the man who was its principal. Its office was Shop 2, 19 Bungan Street, Mona Vale. Nothing in the evidence suggests that it had more than a very small staff, or that the purchasers believed that it had more than a very small staff. The representation alleged was a representation about title. It is a matter of common experience that the skill of suburban real estate agents lies in making contracts on behalf of sellers with buyers, in locating persons who wish to sell real property and interesting in that real property persons who might wish to buy it, and in advising the former what prices are obtainable and the latter what prices might have to be paid. Suburban real estate agents do not hold themselves out – and this agent did not hold itself out – as possessing research skills or means of independently verifying title details about the properties they seek to sell. It is also a matter of common experience – and it was certainly the fact here – that real estate agents, while they carry out tasks on behalf of their principals, are not agents in the sense of creating legal relationships between their principals and others. Here, the agent was obviously an agent for the vendor, but only in a limited sense. The legal relationship to be created by any contract of purchase was to be created by the purchasers directly – by bidding at the auction and then signing a contract.

It is a matter of common experience that questions of title to land can be complex, both legally and factually. Hence they have to be dealt with by specialists. So far as the complexity is factual, the specialists are surveyors. So far as the complexity is legal, the specialists are solicitors or conveyancers, relying on specialists like surveyors. The skills of these specialists, and the problems on which those skills are brought to bear, are quite outside what suburban real estate agents hold themselves out as doing and are likely to be able to do.

[607] While Mr Butcher said he regarded the agent as an expert in appraising property values, the appeal papers do not record any evidence from the purchasers that they regarded the agent as an expert in surveying or in land title.

The character of the transaction. The transaction was the purchase of very expensive property, to be used as an investment – a means of gaining future profits. … The purchasers bought it despite the fact that, as they told the agent, they saw it as needing "a huge amount of" building work in the form of "major corrective renovations". They intended to carry on their carpet cleaning business from the premises. … The changes would also be expensive, for, as Mr Elder told the purchasers, "it would cost a fortune". The purchasers engaged appropriate professional advisers to assist them – Mr Gordon, an accountant; Mr Gillmer, an architectural designer and building consultant; and Mr Hindmarch, a licensed builder. They also engaged solicitors to assist with the actual process of making and completing the contract. …

The contents of the brochure. As counsel for the purchasers acknowledged, the diagram on the back of the brochure was a survey diagram and "looks like" a copy of an original prepared by a professional surveyor. Mr Butcher appreciated that it was a survey diagram. Mr Hindmarch recognised it as "a survey" or a "survey document", and rejected any suggestion that it was merely a sketch. The trial judge found that potential purchasers would be likely to assume that the diagram had been taken from an identification survey report. Not only was it plain that the diagram had not been made by the agent, the circumstances also negated any suggestion that the agent had adopted the surveyor's diagram as its own, or that it had verified its accuracy.

The losses allegedly suffered by the purchasers arose from their entry into the contract to buy the Rednal land on 18 February 1997. [608] Before they entered it, their solicitor had received a copy

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of the contract, and they themselves entered the contract by signing it. If they had not previously realised that the diagram in the brochure was from a survey not conducted by or on the instructions of the agent, they must have realised it then, because the contract annexed Mr Hannagan's survey report dated 4 August 1980, containing the survey diagram bearing that date.

[33.65] It is now necessary to consider the two disclaimers … the first at least establishes that [the agent] was trying not to make any representations about the accuracy of the information conveyed, save that it believed the sources of it to be reliable. If the disclaimers are examined from the point of view of a careful reader, they communicate the same message. In fact, Mr Butcher said that he did not notice either disclaimer when he received the brochure on or about 6 February 1997. Though he apparently studied the brochure, including the diagram, with sufficient care to pass on his impressions of it to Mr Gillmer and Mr Hindmarch, the evidence in the appeal papers does not suggest that he ever noticed them. There is no evidence in the appeal papers that Ms Radford noticed the disclaimers either. Yet, though the disclaimers were in small type, the brochure was a short document, there was very little written on it, and the disclaimers were there to be read. Only persons of very poor eyesight would find them illegible, and there is no evidence that the eyesight of Mr Butcher or Ms Radford was in any way defective.

The Court of Appeal declined to "accord [the disclaimers] decisive significance" (*Harkins v Butcher* (2002) 55 NSWLR 558 at 568), but they do have some significance. If the "conduct" of the agent is what a reasonable person in the position of the purchasers, taking into account what they knew, would make of the agent's behaviour, reasonable purchasers would have read the whole document, given its importance, its brevity, and their use of it as the source of instructions to professional advisers. There are circumstances in which the "conduct" of an agent would depend on different tests. For example, those tests might turn on what purchasers actually made of the agent's behaviour, whether they were acting reasonably or not, and they might also call for consideration of how the agent perceived the purchasers. Tests of that latter kind might be appropriate for plaintiffs of limited experience acting without professional advice in rushed circumstances. They are not appropriate in the present [609] circumstances. Hence, in the circumstances, the brochure, read as a whole, simply meant:

> The diagram records what a particular surveyor found on a survey in 1980. We are not surveyors. We did not do the survey. We did not engage any surveyor to do the survey. We believe the vendor and the surveyor are reliable, but we cannot guarantee the accuracy of the information they have provided. Whatever you rely on, you must rely on your own enquiries.

Hence it would have been plain to a reasonable purchaser that the agent was not the source of the information which was said to be misleading. The agent did not purport to do anything more than pass on information supplied by another or others. It both expressly and implicitly disclaimed any belief in the truth or falsity of that information. It did no more than state a belief in the reliability of the sources …

[610] *Authorities analysed by the purchasers*. Counsel for the purchasers submitted that the Federal Court had repeatedly held "that disclaimers of this nature are not likely to overturn the effect of otherwise misleading and deceptive conduct". However, the Federal Court authorities do not say that disclaimers cannot make clear who is and [611] who is not the author of misleading or deceptive conduct. While acknowledging that each case depended on its own facts, the purchasers relied on various authorities as supporting their argument.

In *John G Glass Real Estate Pty Ltd v Karawi Constructions Pty Ltd* (1993) ATPR ¶41-249, a real estate agent (John G Glass) placed a typed document emanating from the principal of a firm of consultants acting for the vendor with other materials in a folder with a glossy cover. The typed document showed that the net lettable area of a building being offered for sale was 180 m^2. In fact, the net lettable area was 137.4 m^2. John G Glass contended that the only representation it had made was that it had obtained the information in the brochure from the vendor; that it had not endorsed or approved the

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information in the brochure; and that it was no more than a conduit. These contentions relied on the following statement in the brochure on a page immediately before the back cover:

> The information contained herein has been prepared with care by our Company or it has been supplied to us by apparently reliable sources. In either case we have no reason to doubt its completeness or accuracy.
>
> However, neither John G Glass Real Estate Pty Ltd, its employees or its clients guarantee the information nor does it, or is it intended, to form part of any contract. Accordingly, all interested parties should make their own enquiries to verify the information as well as any additional or supporting information supplied and it is the responsibility of interested parties to satisfy themselves in all respects.

The Full Federal Court (Davies, Heerey and Whitlam JJ) upheld the trial judge's rejection of these contentions. Counsel for the purchasers here contended that if John G Glass there failed, with its "more ample disclaimer", going "much further than the suggested disclaimer here", the agent must fail in the present case. The case is distinguishable on two grounds.

The first ground of distinction is that in the brochure John G Glass held itself out as "consultants to institutional investors and to developers of major properties", and the Full Federal Court held that such an agent "would not be regarded by potential purchasers of properties as merely passing on information about the property 'for what it is worth and without any belief in its truth or falsity' " (at 41-359).

The second ground of distinction is that the Full Federal Court said that the net lettable area figure was "one of hard physical fact", and an essential matter in determining the profitability and value of the [612] building (at 41,359). The issue of whether there was a precise correspondence between the Pittwater boundary of the Rednal land and the "MHWM" line on the surveyor's diagram here, however, is not a matter of hard physical fact. What is more, there was nothing to indicate that the net lettable area figure had not been calculated by John G Glass itself: indeed, the part of the disclaimer which stated that some of the information had been "prepared with care by" John G Glass suggested that it had, since it is the type of information an estate agent might be capable of working out for itself. It is quite different from the survey diagram, which had obviously not been prepared by the agent here. Hence Handley JA's [the trial judge] succinct explanation of why the case was distinguishable is correct (*Harkins v Butcher* (2002) 55 NSWLR 558 at 570):

> In that case the agents claimed relevant expertise, adopted the figures as their own, and put them forward without any reference to their source. In the present case the agents claimed no relevant expertise, and the diagram itself indicated that it was the work of a professional surveyor.

Not only is the case distinguishable, but its reasoning in one respect is questionable. The Full Federal Court said (at 41,359):

> There was certainly no express disclaimer of the [estate agent's] belief in the truth of the information in the brochure — indeed there was an express assertion of such belief.

It does not seem quite correct to describe an estate agent which says it has no reason to doubt the accuracy of information but says it does not guarantee it, advises interested parties to make their own inquiries, and says interested parties have the responsibility of satisfying themselves in all respects, as making an "express assertion" of belief in the information.

Finally, contrary to what the purchasers submitted, while the disclaimer in *John G Glass Real Estate Pty Ltd v Karawi Constructions Pty Ltd* was longer, it was not "more ample", and did not go "much further", than the present disclaimers. It did not go as far, because its opening words, unlike any words in this brochure, acknowledged that the estate agent had prepared some of the information.

The purchasers next relied on *Waltip Pty Ltd v Capalaba Park Shopping Centre Pty Ltd* (1989) ATPR ¶40-975. In that case, Pincus J held that clauses in a deed of acknowledgment providing that no

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pre-contractual statements had been relied on before the parties entered a lease were of no [613] effect if the facts were to the contrary. Cases of that type concern a problem which is entirely different from the present problem, and cast no light on its solution.

The third case relied on was *Benlist Pty Ltd v Olivetti Australia Pty Ltd* (1990) ATPR ¶41-043. An estate agent issued a brochure promoting the sale of a substantial city building. The brochure said it was suitable for strata title subdivision. In fact, two encroachments presented obstacles to strata subdivision: one encroachment by a neighbouring building on the land the subject of the sale; and another encroachment by the building being sold onto the neighbouring land. The brochure contained the following clause:

> Chesterton International (NSW) Pty Limited for themselves and the vendors of this property whose Agent they are, give notice: (i) The particulars are set out as a general outline only for guidance of intending purchasers and do not constitute an offer or contract; (ii) All descriptions, dimensions, reference to conditions and necessary permissions for use and occupation and other details are given in good faith and are believed to be correct, but any intending purchasers should not rely on them as statements or representations of fact and must satisfy themselves by inspection or otherwise as to the correctness of each of them; (iii) No person in the employ of [Chesterton] has any authority to make or give a presentation or warrant whatsoever in relation to this property.

A question arose about whether that clause prevented a conclusion that the purchaser relied on the representation about strata title subdivision. Burchett J held that it did not. The purchasers in the present appeal relied on the following passage (*Benlist Pty Ltd v Olivetti Australia Pty Ltd* (1990) ATPR ¶41-043 at 51,590):

> It has been held on many occasions that the perpetrator of misleading conduct cannot, by resorting to such a clause, evade the operation of [the Act]. Of course, if the clause actually has the effect [of] erasing whatever is misleading in the conduct, the clause will be effective, not by any independent force of its own, but by actually modifying the conduct. However, I should think it would only be in rare cases that a formal disclaimer would have that effect.

Clause (i) of the disclaimer did not purport to modify the conduct. Nor did cl (iii), since, as Burchett J held, it merely prevented employees from binding the vendor by conduct outside the brochure. Burchett J dealt with cl (ii) as a matter of fact (*Benlist Pty Ltd v Olivetti Australia Pty Ltd* (1990) ATPR ¶41-043 at 51,590):

> In the present case, the suggestion of the suitability of the [614] building for strata title conversion might continue to influence the mind of a prospective purchaser notwithstanding his awareness of the existence of a disclaimer clause, which did not single out the particular representation, but purported to apply generally to every detail stated in the investment report. If it were permissible to avoid the operation of [the Act] by such a clause, it would be all too easy to make representations in the confidence that they would be acted upon, and then withdraw them in the confidence (equally important for the securing of the desired business) that the withdrawal would not be acted upon.

The conclusions that Burchett J reached as a matter of fact in that case – the implicit conclusion that the clause had not modified the conduct, and the explicit conclusion that despite being told to make its own inquiries the purchaser relied on the representation about strata title conversion – were no doubt open to him, but different conclusions are open in other cases. …

… [615] The purchasers submitted that the Court of Appeal in this case had failed to understand … that the misleading quality of the conduct of the agent in this case arose not only from the inclusion of the survey diagram, but from its juxtaposition with the photographs on the front of the brochure. The distinction relied on by the purchasers has a formal character, and will not always be satisfactory. Its soundness in particular contexts must depend on the circumstances of those contexts. There could

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be cases where the presentation by an agent of a principal's document to a plaintiff does involve the agent in making a representation about the objective truth of the document's contents; and there could be cases where the incorporation of a principal's document into another document prepared by an agent will not involve the agent in making a representation about any matter of objective truth, whether the principal's document is considered by itself or in con junction with [616] other material in the agent's document. For the reasons given above, the present circumstances fall within the latter category.

[33.70] *Appropriate level of analysis*. Finally, it is necessary to deal with a submission made by the purchasers that it was wrong to analyse the structure and language of the brochure too minutely. It is true that the level of analysis which is appropriate might vary from case to case. A more impressionistic analysis, concentrating on the immediate impact of the conduct, might be sounder where the document was only briefly looked at before a decision was made. In other cases a more detailed examination may be more appropriate. Here, the purchasers had the brochure for twelve days before the auction. They relied on it in instructing professional advisers, and they were embarking on a very serious venture. It is not inappropriate to look closely at the contents of the brochure before deciding whether the agent had made a representation.

[33.75] MCHUGH J (dissenting): [616] This case is concerned with the application of a statutory text, expressed in general terms, to particular facts. It falls within a class of case that rarely warrants the grant of special leave to appeal to this Court. But behind the ultimate issue in the case are other issues that affect every person who is induced to buy real estate in Australia by statements in sales brochures distributed by real estate agents. One of those issues is the extent to which estate agents engage in misleading or deceptive conduct when they distribute sales brochures that contain untrue or misleading statements prepared by others. Another issue is the extent to which agents can escape liability by relying on disclaimers about the authenticity of false statements contained in brochures prepared by them. …

[617] The ultimate issue in the appeal is whether, by distributing the brochure, the conduct of Lachlan Elder amounted to misleading or deceptive conduct or conduct that was likely to mislead or deceive in contravention of s 52 of the *Trade Practices Act 1974* (Cth) (the Act). In my opinion, it did. …

[625] The question whether conduct is misleading or deceptive or is likely to mislead or deceive is a question of fact. In determining whether a contravention of s 52 has occurred, the task of the court is to examine the relevant course of conduct as a whole. It is determined by reference to the alleged conduct in the light of the relevant surrounding facts and circumstances. It is an objective question the court must determine for itself (see *Equity Access Pty Ltd v Westpac Banking Corporation* [1990] ATPR ¶40-994 at 50, 950 per Hill J). It invites error to look at isolated parts of the corporation's conduct. The effect of any relevant statements or actions or any silence must be deduced from the whole course of conduct (see eg *Trade Practices Commission v Lamova Publishing Corporation Pty Ltd* (1979) 42 FLR 60 at 65-66 per Lockhart J). Thus, where the alleged contravention of s 52 relates primarily to a document, the effect of the document must be examined in the context of the evidence as a whole (See eg *Lezam Pty Ltd v Seabridge Australia Pty Ltd* (1992) 35 FCR 535 at 451 per Sheppard J, Hill J agreeing) …

[627] The decided cases … show that, by publishing erroneous information received from others, a corporation may engage in conduct that is or is likely to be misleading or deceptive. In determining whether a contravention of s 52 has occurred, two factors are important: (1) whether the corporation assumed responsibility for or adopted (or endorsed or used its name in association with) the information so that it would be reasonable for a recipient to rely on the information; and (2) whether the corporation disclaimed any belief in the truth or falsity of the information or disclaimed any personal responsibility for what it conveyed …

[629] However, the courts have held that in three situations a corporation does not contravene s 52 when it passes on erroneous information. They are: (1) where the circumstances make it apparent

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that the corporation is not the source of the information and that it expressly or impliedly disclaims any belief in its truth or falsity and is merely passing on the information for what it is worth (see *Yorke* (1985) 158 CLR 661 at 666); (2) where the corporation, while believing the information, expressly or impliedly [630] disclaims personal responsibility for what it conveys, for example, by disclaiming personal knowledge (*Saints Gallery Pty Ltd v Plummer* (1988) 80 ALR 525 at 530-531); and (3) where the corporation, while believing the information, ensures that its name is not used in association with the information (*Amadio Pty Ltd v Henderson* (1988) 81 FCR 149 at 257). …

Lachlan Elder engaged in conduct that was misleading

[631] In my opinion, the Court of Appeal erred in finding that the conduct of Lachlan Elder was not misleading or deceptive. In the courts below, the case turned on the nature of the "representation". However, the issue is whether the conduct of Lachlan Elder was misleading or deceptive or was likely to mislead or deceive, having regard to all the circumstances of the case. They included but were not limited to the [632] representations Lachlan Elder made, its actions (and inaction or silence) and the impression conveyed by its conduct. The phrase that best describes the relevant conduct of Lachlan Elder is "selling the Rednal Street property". In determining whether a breach of s 52 occurred, all that Lachlan Elder did in relation to the sale is relevant. Hence, the presence of and participation in the inspections of Lachlan Elder's staff, their knowledge of the purpose of the inspections and the conversations at those inspections as well as the distribution and content of the brochure must be considered. To focus on whether a representation was made and the content of the representation diverts attention from the substantive issue, that is, whether in all the circumstances Lachlan Elder engaged in misleading or deceptive conduct or conduct that was likely to mislead or deceive.

Accordingly, it is necessary to consider the whole conduct of Lachlan Elder in order to ascertain whether such conduct was misleading or deceptive or was likely to mislead or deceive persons in the class identified as reasonable potential purchasers of waterfront properties in the price range of over $1 million. Potential purchasers of such a property would have access to legal advice and would retain a solicitor who would advise them about matters such as the boundary of the property. No doubt, potential purchasers within the identified class would also have been aware that it was not part of a selling agent's functions to obtain a survey plan or to verify such a plan.

As I have shown, an extensive body of case law has developed concerning the circumstances in which corporations will be found to have engaged in conduct that is misleading or deceptive or is likely to mislead or deceive by passing on information supplied by a third party. This case falls within the category of a corporation not being the source of the information and believing in its accuracy but not expressly or impliedly disclaiming personal responsibility for what it conveys.

That Lachlan Elder incorporated the survey diagram in a brochure prepared for marketing purposes is a matter of great importance. The irresistible conclusion is that Lachlan Elder did so because it would influence potential purchasers to purchase the property. The importance that Lachlan Elder gave to the survey diagram is emphasised by its place in the brochure: the top right hand side of the second page.

Lachlan Elder contends that potential purchasers would have known and understood that the survey diagram was a reproduction of a survey report. That is clearly so: the diagram was a reproduction of a survey identification report and bore the date "4.8.80". Moreover, the brochure indicated that Lachlan Elder was not the source of all the information contained in it. The foot of the first page contained a disclaimer in the following terms:

> Lachlan Elder Realty Pty Ltd ACN 002 332 247. All information contained herein is gathered from sources we believe to be reliable. [633] However we cannot guarantee it's [sic] accuracy and interested persons should rely on their own enquiries.

However, the reproduction of the diagram in the brochure does not identify the author of the survey diagram, an omission that suggests that Lachlan Elder had adopted the diagram as its own. …

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[634] What occurred at the subsequent inspection on 14 February 1997 is of cardinal importance in evaluating the conduct of Lachlan Elder. Mr Elder was present at a conversation that showed that the purchasers were intending to move the pool and were relying on the accuracy of the survey diagram to do so. On that occasion, Mr Gillmer, the architectural designer retained by the purchasers, advised Mr Butcher that the idea of "moving" the pool was feasible, based on the position of the high water mark indicated by Mr Butcher, in reliance on the diagram in the brochure (*Butcher* [2001] NSWSC 15 at 26 per Austin J). Mr Elder was sceptical about the proposal because he thought the plan would be expensive and that the pool would encroach on the mean high water mark. But everything he said was premised on the pool being within the boundary of the freehold land. In addition, Lachlan Elder was aware that Mr Butcher had attended the open for inspection of the Rednal Street property on 15 February 1997 with a builder and had taken advice from him.

The conduct of Mr Elder at the inspection on 14 February 1997 and the conduct of Lachlan Elder in distributing the brochure were significant factors in inducing the purchasers to buy the property. Lachlan Elder not only distributed a brochure containing an inaccurate survey diagram but at the inspection it did nothing to correct the misapprehension under which the purchasers laboured. …

[636] Lachlan Elder did not hold itself out as a professional surveyor or conveyancer or as having particular surveying or conveyancing expertise. However, it did hold itself out as a specialist for the sale of prestige properties in the Pittwater area and was in fact an experienced selling agent of properties in that area. In these circumstances potential purchasers of such properties would be unlikely to regard the agent as merely passing on information about the Rednal Street property, including the location of the swimming pool, "for what it is worth and without any belief in its truth or falsity". It is reasonable to expect potential purchasers, even potential purchasers advised by solicitors, to rely on the accuracy of a survey diagram reproduced in a promotional brochure for the sale of a property. …

[638] As I have indicated, the intent of the corporation is not relevant for the purposes of s 52. As a result, a disclaimer as to the truth or otherwise of a representation does not, of itself, absolve the corporation from liability.

This is not to say that a disclaimer should be ignored for the purposes of assessing whether a contravention of s 52 has occurred. As Miller notes in *Miller's Annotated Trade Practices Act* (25th ed, 2004 p 475), the [639] conduct must be considered as a whole. This requires consideration of whether the conduct in question, including any representations and the disclaimer, is misleading or deceptive or is likely to mislead or deceive. If a disclaimer clause has the effect of erasing whatever is misleading in the conduct, the clause will be effective, not by any independent force of its own, but by actually modifying the conduct. However, a formal disclaimer would have this effect only in rare cases. [His Honour then referred to *Benlist Pty Ltd v Olivetti Australia Pty Ltd* [1990] ATPR ¶41-043 at 51-590 – see above] …

[640] Handley JA did not accord the disclaimers (that appeared "in fine print at the foot of the front and back pages") "decisive significance" on the question of Lachlan Elder's liability under s 52 (*Harkins* (2002 55 NSWLR 558 at 568-569). Nevertheless, his Honour regarded the disclaimers as "relevant as showing that the agents did not accept responsibility for the accuracy of the information in the brochure" (*Harkins* (2002 55 NSWLR 558 at 569).

This finding of Handley JA, however, is inconsistent with the accepted line of Federal Court authority that a disclaimer is only effective if it actually modifies the impugned conduct such that the conduct as a whole may be seen as not misleading, not because the disclaimer has any independent force of its own. It is also inconsistent with the finding of the Full Federal Court in John G Glass Real Estate. A disclaimer in a promotional brochure may purport to represent that the corporation does not accept responsibility for the accuracy of the information in that brochure, but it will only be effective if it operates to modify the corporation's conduct.

The case law suggests that disclaimers that appear in small print at the foot of marketing brochures are rarely effective to prevent conduct from being found to be misleading or deceptive or likely to

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mislead or deceive. If misleading conduct has induced a contract, that fact cannot be negated by the mere circumstance that there is a statement to the contrary (see, eg, *Bowler v Hilda Pty Ltd* (1998) 80 FCR 191 at 207 per Heerey J; *Burg Design Pty Ltd v Wolki* (1999) 162 ALR 639 at 648-650, per Burchett J). …

[641] The disclaimer in the present case stated that Lachlan Elder "cannot guarantee [the information's] accuracy and interested persons should rely on their own enquiries". But that disclaimer does not allow Lachlan Elder to disclaim personal responsibility for the information conveyed by the inclusion of the survey diagram. In all the circumstances of the case – the prominent display of the survey diagram in the brochure, the conduct and statements of Mr Spring when he distributed the brochure to the purchasers, the subsequent conduct and statements of Messrs Spring and Elder, and the unavailability of the contract of sale until just before the auction – the disclaimer did not operate to obliterate the effect of Lachlan Elder's misleading or deceptive conduct. Moreover, as Burchett J acknowledged in *Lezam* (1992) 35 FCR 535 at 557, once misleading or deceptive conduct is shown, the Act prevails over the disclaimer. It would be contrary to the consumer protection objects of the statute and to public policy for disclaimers to deny a statutory remedy for offending conduct under the Act (*Henjo Investments* (1988) 39 FCR 546 at 561 per Lockhart J, Burchett and Foster JJ concurring; *Lezam* (1992) 35 FCR 535 at 557 per Burchett J). …

In my opinion, the appeal must be allowed.

[33.80] KIRBY J (dissenting):

A corporation engages in "conduct that is misleading"

[642] The simple facts of this case cannot escape certain fundamental realities. The respondent prepared, and an employee of the respondent on its behalf gave to the appellants, a one-sheet promotional pamphlet depicting (amongst other things) the boundary of the valuable waterfront property that the respondent was commissioned by Mr Harkins to sell. The respondent was acting for reward. The effective boundary so shown was designated by the initials "MHWM" (mean high-water mark). As portrayed in the pamphlet, the "MHWM" line (the boundary line) was well clear of a swimming pool erected in front of a house built on the subject land. It lay between the house and a deep waterfrontage with the Pittwater, an [643] inland waterway north of Sydney. In the courts below it was held that, contrary to the pamphlet, the boundary line actually ran through the swimming pool.

The appellants had made known to the respondent the fact that the location of the boundary line was important to them because of plans they had to relocate the swimming pool, so as to afford a larger open area in the front of the house for entertainment purposes. The appellants wished to use the property as their residence; but also in connection with a business in which they were engaged. But for the misdescription of the location of the boundary line of the property, the appellants would not have bid for the land at auction. Nor would they have agreed to execute a contract as they did. They wanted to buy a residence, not a "bundle of trouble". Under that contract, a substantial deposit of $200,000 was released to Mr Harkins (*Butcher* [2001] NSWSC 15 at [67]). In consequence of that fact and other proved circumstances, the appellants suffered loss and damage because of the respondent's misdescription of the property. That loss and damage flowed from the "conduct" of the respondent, a corporation, in the course of its business in preparing and distributing the pamphlet. It was conduct that was "misleading or deceptive or … likely to mislead or deceive". …

[644] An essential difference of approach: At the heart of the difference between my reasons and those of the majority lies a different conception of the intended operation of the provisions of the Act invoked in this case. If, in a transaction such as was entered into between the parties, liability under the Act may be escaped in circumstances such as these (and particularly by reliance on a printed disclaimer of the kind involved in this case) this Court might just as well fold up the Act and put it away so far as dealings between real estate agents and purchasers are concerned. By similar printed disclaimers, such agents and others like them will walk straight out of the operation of the Act in many and varied circumstances.

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Neither the printed disclaimers nor the other circumstances the agent relies upon, permits it to avoid the Act. Adopting such a view of the Act would not only be contrary to its proclaimed objectives. It would also be destructive of the beneficial operation of the Act in requiring corporations, engaged in trade and commerce in Australia, to desist from conduct that is misleading or deceptive or likely to mislead or deceive.

The large purposes of the Act: The Act is intended, relevantly, to afford recovery to persons who suffer loss or damage by conduct in contravention of Pt V. Yet, in some ways more important, s 52(1) of the Act is addressed to the impugned conduct of corporations engaged in trade or commerce. That subsection sets standards for corporate behaviour, care and responsibility. Disclaimers there can be. But, if they are to be effective, the language of the Act, legal authority and legal principle suggest that they must be made much more clearly than those invoked here were.

Tiny printed disclaimers and inferences to be implied from the facts would not ordinarily have the effect of exempting a corporation from the regime established by the Act. The interpretation now adopted reduces the Act to a paltry thing of little real protection for the [645] multitude of persons whom the Parliament intended to protect. It is inappropriate for this Court to send a signal to the industry of corporate real estate agents, and other industries, that they can avoid the requirements of the Act by the simple expedient of publishing disclaimers illegible to many eyes and easily overlooked. It is no answer to the operation of the Act that those who suffer damage by "conduct that is misleading" can be expected to get their own solicitors and surveyors to advise them. In many cases, they can. But the Act takes effect first and independently of that entitlement. It imposes duties and liabilities. In this case, those duties and liabilities applied to the agent and were contravened. …

[646] *The supposed contextual exemptions*: So what are the reasons relied on by the agent to escape what seems to be a fairly clear case of a corporation engaging in "misleading" conduct? Various arguments have found favour with the majority. They do not convince me.

First, it is suggested that the agent did no more than to convey representations to the purchasers concerning the Rednal land that were being made by the vendor. I cannot accept this interpretation of the facts. It would impermissibly erode the operation of the Act which, by its terms, applies to corporations for their own conduct. The agent chose to convey the representations that it did. For that conduct, it must accept accountability measured against the requirements of the Act. …

[647] This was not a case where the agent was merely passing on information supplied by another within the words used by this Court in *Yorke v Lucas* ((1985) 158 CLR 661 at 666). Nor was it a case where the agent was simply passing on the information "for what it is worth". … The agent did not have to include in its pamphlet the diagram showing the boundary line designated by the mean high-water mark. Having done so, it was obliged to accept the legal consequences. Clearly, its conduct occurred in the performance of its professional activity as a corporate real estate agent. Moreover, it acted as it did for its own economic advantage. It stood to gain the agent's fee for the sale of the property. The more attractive it could make the property seem, the more likely was it to succeed in effecting a sale. …

[648] The only available inference therefore is that Mr Elder, for the agent, affirmed the correctness of the survey diagram by his response to Mr Butcher's plans to reposition the swimming pool (see *Butcher* [2001] NSWSC 15 at [16]-[17], [22], [26]). Certainly, he said nothing to indicate any doubts concerning the description in the diagram of the position of the mean high-water mark and the boundary that it apparently signified …

Secondly, I cannot agree that personal characteristics of the parties (joint reasons at 605-606) in some way exempted the agent from the obligations imposed by the Act to avoid "misleading" conduct in its pamphlet. For example, the facts that Mr Butcher had at one stage enjoyed a high profile as a former professional football player, was a successful businessman, had decided with Ms Radford to engage in a venture of prudent investment in real estate or was intelligent, shrewd and self-reliant are all ultimately irrelevant considerations. It may be true that the Act is vigilant to protect

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the weak, the impressionable and the vulnerable. But there is nothing in its language, or purpose, to exclude from its protection, in a proper case, domestic partners who rely on the printed material of a real estate agent when proceeding to purchase a significant parcel of land.

Throughout Australia it is not at all uncommon for individuals and couples to endeavour to improve their economic position by acquiring, and ultimately reselling, valuable parcels of real property. To exclude from the protections of the Act those who do so, because they are investors or shrewd and so forth is as irrelevant to the language and purpose of the Act as to exclude them because they were once professional footballers. The Act is a law of general application. It focuses on the conduct of corporations. None of the personal considerations nominated in this case, to exclude the purchasers from the Act's protection, is in the slightest convincing. …

The written disclaimers are ineffective

…

[651] *The disclaimers' tiny typeface:* As a matter of evaluation of the facts, it is misleading to read the disclaimers as if they appeared with equal prominence along with other details, as might be inferred from the reproduction of their text in judicial reasons. A number of larger typefaces are used in the document. The disclaimers, however, appear in a typeface that can only be described as tiny. That on the rear of the pamphlet is even smaller than that on its face. The only print appearing in the document that is smaller comprises some of the handwritten details of the surveyor's diagram, inferentially photo-reduced and reproduced on the reverse of the pamphlet.

A youth with 20/20 vision could possibly read the disclaimers without undue difficulty. But I doubt that any ordinary adult could do so without some form of magnification. I reproduce in these reasons both the disclaimers in the typeface in which they each appear in the agent's pamphlet and, for purposes of comparison, the typefaces appearing immediately next to them on the pamphlet page …

[653] *Viewing disclaimers in context*: Disclaimers of such a kind must be considered as they appear in a pamphlet designed to communicate information to the recipient. The cover comprises a large and arresting photograph of property with inserted smaller photographs, also attractive. The print size of most of the text is large and clear to read, must of it without the need for magnification. The diagram on the reverse is also clear enough. At least, this is so as it shows the boundary line, the subject of the present dispute.

In such a context, the typeface used for the printed disclaimers suggests (and I think was intended to suggest) that the ordinary person reading the pamphlet did not need to bother with information so insignificant that it could be reproduced in such a typeface. In the agent's document of attractive photographs and bold assertions … who would bother to read written disclaimers in such tiny print? …

[654] By holding that the printed disclaimer in this pamphlet was effective to exclude liability under the Act, this Court, in my respectful view, strikes a blow at the Act's intended operation. Henceforth, in effect, the Act may not operate to protect the ordinary recipient of the representations of corporations engaged in trade or commerce. Many such corporations will be encouraged by this decision to believe that they can avoid the burdens of the Act by the simple expedient of tucking away in an obscure place in minuscule typeface a disclaimer [655] such as now proves effective. This approach is contrary to the language and purpose of the Parliament.

The trend of authority on disclaimers: The approach that I favour is consistent with the way that intermediate courts have considered disclaimers when relied on by corporations that are otherwise in default of the Act. Of course, each case depends on its own facts and on the terms, size, prominence and context of the disclaimer in question. Also relevant is whether, on the particular question, the parties had the advantage of legal advice (*H W Thompson Building Pty Ltd v Allen Property Services Pty Ltd* (1983) 77 FLR 254 at 260). However, I could find no case where an Australian court has upheld a printed exemption with an equivalent lack of prominence, content and communicative force to that now upheld [case references omitted]. A similar unwillingness is observable in the courts of

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other countries [case references omitted], reluctant to allow claims to rescind land sale contracts for misrepresentation to be defeated by contractual exemptions …

[656] *Disclaimers and commercial reality*: In its nature, self-interest often inclines parties to attempt to limit proper warnings and to seduce consumers with attractive communications, unembarrassed by messages of restraint. Where the Act would otherwise attach, it is important for this Court, like virtually all intermediate courts before this case, to insist that, to be effective, written disclaimers must be clear, detailed and prominent. None of those adjectives applies to the two disclaimers in this case. So far as the written disclaimer on the reverse side of the pamphlet is concerned, a quick reading would suggest (as the joint reasons acknowledge (at 608)) that it is aimed to let the designer off the hook, saying nothing at all about the agent.

For centuries, lawyers have lamented the disinclination of their clients to read the fine print of documents. For a long time they have realised that it usually takes binding obligations of professional duty, a peculiar turn of mind and strong spectacles to combine in that result. Whatever they should do in theory, ordinary people cannot [657] be converted to reading hidden messages contained in tiny print. It requires a large measure of judicial self-deception to say that the purchasers should have read the written disclaimers invoked here. The decisions of the judges below in this case are out of line with the general approach of intermediate courts with larger experience in the application of the Act.

Expert commentary reinforces the conclusion: The approaches adopted by intermediate courts have not only been described by expert commentators. They have been strongly endorsed by them with reference to applicable considerations of legal principle and policy. …

[658] Similar conclusions have been reached by commentators in other countries [citations omitted]. The language of the Act, as well as legal authority, principle and policy suggest that this Court should not waver on this point. I dissent from the conclusion that we should do so in this case. …

[660] It follows that the appeal should be allowed with costs …

Appeal dismissed.

MISLEADING CONDUCT

[33.85] Conduct is misleading if it has the capacity to lead into or cause an error. However, the courts have not attempted to further define the words "misleading or deceptive". In *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 39 FCR 546, 555 (at [33.252]) Lockhart J noted that there "is no need or warrant to search for other words to replace those used in the section itself". In *Demagogue v Ramensky* (1992) 39 FCR 31, 41 (see [33.135]) Black CJ set out the approach to be adopted when determining whether conduct is misleading or deceptive:

> [C]onsistently with regard to the natural meaning of the terms of s 52 [now ACL, s 18], the question is whether in the light of all the relevant circumstances constituted by acts, omissions, statements or silence, there has been conduct which is or is likely to be misleading or deceptive. Conduct answering that description may not always involve misrepresentation.

The context in which the representation is made will be important to determining the appropriate level of analysis expected of the reasonable class of persons or reasonable person to whom the conduct was directed. For example, the effects of representations contained in

television advertisements are assessed on an impressionistic basis. In *Pacific Dunlop Ltd v Hogan* (1989) 23 FCR 553, 583 Burchett J noted that television advertisements "should not be seen as setting off a logical train of thought in the minds of television viewers". Furthermore, the reasonable member of the television viewing public is unlikely to pay close attention to the details of the advertisement. Thus, in assessing the impact of an advertisement courts should focus on the general impression the advertisement is likely to leave on the reasonable person. In other circumstances, the reasonable person will be expected to play close attention to the representations made. In *Butcher v Lachlan Elder Realty Pty Ltd* [2004] HCA 60; (2004) 218 CLR 592 (see [33.65]) a majority of the High Court held that the importance and brevity of the information contained in the brochure given to prospective purchasers of land meant that the reasonable person in the position of the purchaser would have paid close attention to the details of the brochure and read it in its entirety.

Section 18, unlike the general law of misrepresentation, is not in terms limited to positive misrepresentations of *fact*. Accordingly, statements of law are caught by the section. So too are sales puffs, if reasonably specific.

Silence

[33.90] In *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 39 FCR 546 (at [33.252]) Lockhart J held that silence would be misleading where, on the facts, there was a duty to disclose the relevant information. However, the law has moved on from this approach (nevertheless, the factual outcome in *Henjo* remains sound). In *Kimberley NZI Finance Ltd v Torero Pty Ltd* [1989] ATPR (Digest) ¶46-054, 53,195 French J stated the test for when silence will be misleading as follows:

> [U]nless the circumstances are such as to give rise to the reasonable expectation that if some relevant fact exists it would be disclosed, it is difficult to see how mere silence could support the inference that the fact does not exist.

The reasonable expectation test was endorsed by the Full Federal Court in *Demagogue Pty Ltd v Ramensky* (1992) 39 FCR 31 (see [33.135]). In *Miller & Associates Insurance Broking Pty Ltd v BMW Australia Finance Limited* [2010] HCA 31; (2010) 241 CLR 357, [19] (at [33.95]) French CJ and Kiefel J noted that the reasonable expectation test "indicates an approach which can be taken to the characterisation, for the purposes of s 52 [now ACL, s 18], of conduct consisting of, or including, non-disclosure of information". Whether there is a reasonable expectation of disclosure is very much a matter of context: *Nagy v Masters Diary Ltd* (1996) 150 ALR 273, 273 and 291; *E K Nominees Pty Ltd v Woolworths Ltd* [2006] NSWSC 1172.

Although it is generally not necessary to show that the party engaging in the allegedly misleading conduct intended to mislead the other party, there is conflicting authority as to whether silence must be *deliberate* if it is to contravene the section. This possibility stems from the definition of conduct in s 2(2) of the ACL which reads as follows:

> In this Schedule: … (b) a reference to conduct, when that expression is used as a noun … is a reference to the doing of or the refusing to do any act …; (c) a reference to refusing to do an act includes a reference to — (i) refraining (*otherwise than inadvertently*) from doing that act … [emphasis added]

The issue of whether or not silence must be deliberate is yet to be resolved by the High Court.

Miller & Associates Insurance Broking v BMW Australia Finance

[33.95] *Miller & Associates Insurance Broking Pty Ltd v BMW Australia Finance Limited* [2010] HCA 31; (2010) 241 CLR 357 (High Court of Australia) [Footnotes omitted].

[FACTS: In late 2000, Miller & Associates Insurance Broking Pty Ltd (Miller), an insurance broker, negotiated an insurance premium funding loan with BMW Australia Finance Limited (BMW Finance) on behalf of its client Consolidated Timber Holdings Ltd (CTH). CTH used this money to purchase insurance from HIH Casualty and General Insurance Limited. When CTH defaulted on the loan, BMW Finance sued Miller in the Supreme Court of Victoria alleging that Miller had made misrepresentations about the policy for which the loan was sought and that these misrepresentations constituted misleading or deceptive conduct in breach of s 52 of the *Trade Practices Act 1974* (Cth) [which has since been repealed and replaced by s 18(1) of the ACL]. During the course of negotiations, Miller provided BMW Finance with a memorandum and certificate of insurance and the loan policy document. BMW Finance alleged that the memorandum and certificate conveyed the misrepresentation that the policy covered property and was assignable and cancellable. In addition, BMW Finance alleged that Miller's failure to disclose that the loan was neither assignable nor cancellable amounted to misleading or deceptive conduct.

At trial, Byrne J held that the certificate of insurance did not convey that the insurance policy was assignable and cancellable. Byrne J also noted that the relevant BMW Finance employees did not subject the certificate to careful analysis and jumped to the conclusion that the policy was cancellable, a conclusion that was not warranted by the terms of the certificate. With respect to the non-disclosure claim, Byrne J also rejected the non-disclosure claim on the basis that BMW was an experienced lender that had been provided with a copy of the insurance policy in question. BMW Finance successfully appealed to the Full Court of the Victorian Supreme Court. Robson AJA (with whom Neave JA agreed) held that the certificate of insurance conveyed the impression that the relevance insurance was property insurance. As property insurance is generally cancellable, Robson AJA held that the certificate was misleading. Robson AJA also held that Miller's non-disclosure was misleading. Ashley JA agreed with the trial judge's finding that the certificate did not convey a positive misrepresentation about the nature of the insurance policy but decided the appeal in favour of BMW Finance on the non-disclosure issue. Miller appealed to the High Court.]

FRENCH CJ AND KIEFEL J:

The pleading of misleading or deceptive conduct

[5] The cause of action for contravention of statutory prohibitions against conduct in trade or commerce that is misleading or deceptive or is likely to mislead or deceive has become a staple of civil litigation in Australian courts at all levels. Its frequent invocation, in cases to which it is applicable, reflects its simplicity relative to the torts of negligence, deceit and passing off. Its pleading, however, requires consideration of the words of the relevant statute and their judicial exposition since the cause of action first entered Australian law in 1974. It requires a clear identification of the conduct said to be misleading or deceptive. Where silence or non-disclosure is relied upon, the pleading should identify whether it is alleged of itself to be, in the circumstances of the case, misleading or deceptive conduct or whether it is an element of conduct, including other acts or omissions, said to be misleading or deceptive.

[6] … BMW began the relevant part of the pleading by alleging that it had a reasonable expectation that Miller would provide an accurate response in reply to its request for information about the policy and would not provide the memorandum and HIH certificate knowing, without disclosing, that the policy did not comply with BMW's security requirements … BMW then asserted that Miller did not, at any relevant time, make any disclosure to it of any information about the insurance other than that contained in the memorandum and in the HIH certificate …

Misleading or deceptive non-disclosure

[14] In determining whether there has been a contravention of s 52 of the *Trade Practices Act*, it is necessary to determine "whether in the light of all relevant circumstances constituted by acts,

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omissions, statements or silence, there has been conduct which is or is likely to be misleading or deceptive". The term "conduct" is to be understood according to its definition in s 4(2)(a) and (b) of the *Trade Practices Act* [now s 2(2)(a) and (b) of the ACL], which includes a reference to "refusing to do any act". That, in turn, includes a reference to "refraining (otherwise than inadvertently) from doing that act" [s 4(2)(c) of the *Trade Practices Act*, now s 2(2)(c) of the ACL].

[15] For conduct to be misleading or deceptive it is not necessary that it convey express or implied representations. It suffices that it leads or is likely to lead into error. BMW's case as pleaded, when its confusing overlaps are disentangled, was based upon conduct conveying representations either by the materials supplied to it by Miller or by the non-disclosure of which it complained.

[16] The circumstances in which silence or non-disclosure of information can be misleading or deceptive are various. The understanding of the place of silence or non-disclosure in the characterisation of conduct as misleading or deceptive was affected, in early decisions on s 52, by the view that the section was concerned with misrepresentations that would have been actionable under the general law. That view was linked to the proposition, expressed in *Taco Co of Australia Inc v Taco Bell Pty Ltd* [(1982) 42 ALR 177], that conduct could not be misleading or deceptive for the purposes of s 52 unless it conveyed a misrepresentation. It was also linked to the proposition that at general law "mere silence, with regard to a material fact, which there is no legal obligation to divulge, will not avoid a contract, although it operate as an injury to the party from whom it is concealed". In the early development of the law about misleading or deceptive conduct, there were rather cautiously expressed views about the role of silence, albeit the importance of the statutory words was acknowledged.

[17] The 1992 decision of the Full Court of the Federal Court in *Demagogue Pty Ltd v Ramensky* [(1992) 39 FCR 31] represented what has been described accurately as "an emphatic acknowledgement … of the unique nature of the statutory prohibition". The Full Court upheld the decision of the primary judge that a vendor of land had created a clear but erroneous impression in the purchasers that there was nothing unusual concerning access to the land and, in particular, had been silent as to the necessity of a grant of a licence by a statutory authority to enable such access.

[18] Gummow J, who wrote the leading judgment and with whom Black CJ and Cooper J agreed, said [at 38]:

> it should be no inhibition to giving effect to what, on its proper construction, is provided for in the legislation, that the result may be to achieve consequences and administer remedies which differ from those otherwise obtaining under the general law.

Silence, as Black CJ said in his concurring judgment, was to be assessed as a circumstance like any other [at 32]:

> the question is simply whether, having regard to all the relevant circumstances, there has been conduct that is misleading or deceptive or that is likely to mislead or deceive.

Gummow J referred to the limitation that "unless the circumstances are such as to give rise to the reasonable expectation that if some relevant fact exists it would be disclosed, it is difficult to see how mere silence could support the inference that the fact does not exist" [at 41].

[19] The language of reasonable expectation is not statutory. It indicates an approach which can be taken to the characterisation, for the purposes of s 52, of conduct consisting of, or including, non-disclosure of information. That approach may differ in its application according to whether the conduct is said to be misleading or deceptive to members of the public, or whether it arises between entities in commercial negotiations *Campomar Sociedad, Limitada v Nike International Ltd* (2000) 202 CLR 45 at 84–85 [101]; *Campbell v Backoffice Investments Pty Ltd* (2009) 238 CLR 304 at 319 [26]. An example in the former category is non-disclosure of material facts in a prospectus.

[20] In commercial dealings between individuals or individual entities, characterisation of conduct will be undertaken by reference to its circumstances and context. Silence may be a circumstance to be considered. The knowledge of the person to whom the conduct is directed may be relevant.

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Also relevant, as in the present case, may be the existence of common assumptions and practices established between the parties or prevailing in the particular profession, trade or industry in which they carry on business. The judgment which looks to a reasonable expectation of disclosure as an aid to characterising non-disclosure as misleading or deceptive is objective. It is a practical approach to the application of the prohibition in s 52.

[21] To invoke the existence of a reasonable expectation that if a fact exists it will be disclosed is to do no more than direct attention to the effect or likely effect of non-disclosure unmediated by antecedent erroneous assumptions or beliefs or high moral expectations held by one person of another which exceed the requirements of the general law and the prohibition imposed by the statute. In that connection, Robson AJA in the Court of Appeal spoke of s 52 as making parties "strictly responsible to ensure they did not mislead or deceive their customer or trading partners". Such language, while no doubt intended to distinguish the necessary elements of misleading or deceptive conduct from those of torts such as deceit, negligence and passing off, may take on a life of its own. It may lead to the imposition of a requirement to volunteer information which travels beyond the statutory duty "to act in a way which does not mislead or deceive". Cicero, in his famous essay *On Duties*, seems to have contemplated such a standard when he wrote (Cicero, *De Officiis*, bk 3, ch 57, as translated by Grant in "A Practical Code of Behaviour", in Cicero: *Selected Works*, rev ed (1971) 157 at 180):

> Holding things back does not always amount to concealment; but it does when you want people, for your own profit, to be kept in the dark about something which *you* know and would be useful for *them* to know.

It would no doubt be regarded as an unrealistic expectation, inconsistent with the protection of that "superior smartness in dealing" of which Barton J wrote in *W Scott, Fell & Co Ltd v Lloyd* (1906) 4 CLR 572 at 580, that people who hold things back for their own profit are to be regarded as engaging in misleading or deceptive conduct. As Burchett J observed in *Poseidon Ltd v Adelaide Petroleum NL* (1991) 105 ALR 25 at 26, s 52 does not strike at the traditional secretiveness and obliquity of the bargaining process. But his Honour went on to remark that the bargaining process is not to be seen as a licence to deceive, and gave the example of a bargainer who had no intention of contracting on the terms discussed and whose silence was to achieve some undisclosed and ulterior purpose harmful to a competitor.

[22] However, as a general proposition, s 52 does not require a party to commercial negotiations to volunteer information which will be of assistance to the decision-making of the other party. A fortiori it does not impose on a party an obligation to volunteer information in order to avoid the consequences of the careless disregard, for its own interests, of another party of equal bargaining power and competence. Yet that appears to have been, in practical effect, the character of the obligation said to have rested upon Miller in this case.

[23] Reasonable expectation analysis is unnecessary in the case of a false representation where the undisclosed fact is the falsity of the representation. A party to precontractual negotiations who provides to another party a document containing a false representation which is not disclaimed will, in all probability, have engaged in misleading or deceptive conduct. When a document contains a statement that is true, non-disclosure of an important qualifying fact will be misleading or deceptive if the recipient would be misled, absent such disclosure, into believing that the statement was complete. In some cases it might not be necessary to invoke non-disclosure at all where a statement which is literally true, but incomplete in some material respect, conveys a false representation that it is complete.

Conclusions

[24] On the approach taken by Neave JA and Robson AJA, the HIH certificate conveyed a misrepresentation about the character of the policy. On that premise, Miller's failure to provide information about the nature of the policy was not necessary for their Honours' characterisation of its

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conduct in supplying the HIH certificate. In any event the premise was wrong for the reasons set out in the judgment of Heydon, Crennan and Bell JJ.

[25] If, as Ashley JA held, the HIH certificate did not convey a representation, the question then is what did Miller's "silence" add? Ashley JA said of the HIH certificate ((2009) 15 ANZ Insurance Cases ¶61-811 at 77,527 [20]):

> It was ambiguous. It neither plainly identified the insurance as ordinary property insurance, nor plainly identified the contrary. Miller knew that it did not relate to ordinary property insurance, and should be taken to have known that the insurance was non-cancellable. It knew the importance of insurance being cancellable to a premium funder. Those circumstances meant, in my opinion, that it was misleading for Miller to stay silent and not communicate to [BMW] a relevant situation which the HIH certificate tended to obfuscate. It cannot be said, for the reasons which I have stated, that provision of the copy policy satisfied the requirement that the uncertainty be cleared up.

[26] … [T]he preceding was not a statement that the HIH certificate was ambiguous in the sense that it was capable of being read as conveying, inter alia, a representation that the policy was a cancellable property insurance policy. Such a proposition could not sit with his Honour's rejection of the view of the other members of the Court of Appeal that the HIH certificate conveyed that representation. Given that the HIH certificate could not be read that way, the provision of further information would not have excluded a misleading construction. But his Honour having found, in the sense that the primary judge found, uncertainty in the meaning of the HIH certificate, he effectively found Miller was subject to a "requirement that the uncertainty be cleared up" [at 77,527 [20]]. Like the "strict responsibility" of which Robson AJA spoke, that duty travelled beyond the limits of the statutory prohibition. In our opinion, in the circumstances of the case, the alleged failure of Miller to volunteer information about the policy could not be said to have constituted misleading or deceptive conduct. In the event, a copy of the policy was put in the hands of BMW, who simply did not read it.

[27] For these reasons and the reasons set out in the judgment of Heydon, Crennan and Bell JJ, we agree that the appeal should be allowed.

HEYDON, CRENNAN AND BELL JJ:

The characterisation of Miller's conduct

[78] BMW's statutory claim for damages [under s 82 of the *Trade Practices Act 1974* (Cth), now s 236 of the Australian Consumer Law] alleged contraventions of ss 52 and 53 of the *Trade Practices Act* 1974 (Cth) [s 53 of the *Trade Practices Act 1974* (Cth) has been repealed and replaced with s 29 of the ACL]. The focus at trial was on the claim under s 52. That section provides that "[a] corporation shall not, in trade or commerce, engage in conduct that is misleading or deceptive or is likely to mislead or deceive". "Engag[ing] in conduct" refers to doing or refusing to do any act [s 4(2)(a) *Trade Practices Act 1974* (Cth); s 2(2)(a) of the ACL]. "Refusing to do an act" includes refraining (otherwise than inadvertently) from doing that act [s 4(2)(c)(i) of the *Trade Practices Act 1974* (Cth), now s 2(2)(c) of the ACL].

[79] BMW put its case in two ways.

[80] The first was that Miller's conduct in supplying the HIH certificate in response to BMW's request for details of the insurance was misleading. This case depends upon finding that the HIH certificate misrepresented that the underlying policy was a cancellable property policy that was capable of providing security for the proposed loan.

[81] The second, wider, way in which the claim of misleading conduct was put arises from Miller's failure to inform BMW, in terms, that the policy for which funding was sought was not cancellable. This was characterised in the Court of Appeal as the "contextual silence" case. It was rejected by the primary judge, but it is the basis upon which each of the members of the Court of Appeal concluded that Miller had engaged in misleading conduct.

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[82] BMW's pleaded contextual silence case was that Miller knew or ought to have known that the policy was non-cancellable and that this was capable of giving its conduct in failing to disclose that fact the quality of being misleading. In this Court, it was not in issue that Miller knew at all material times that the policy underlying the HIH certificate was a non-cancellable cost of production policy. BMW's pleaded case was that it had a reasonable expectation that Miller would not supply it with the HIH certificate in response to its request for details of the insurance without disclosing that the underlying policy was non-cancellable. This case does not depend upon acceptance of BMW's primary case that the HIH certificate misrepresented that the underlying policy was a cancellable property policy. As indicated earlier, this second and wider case is the one upon which each of the members of the Court of Appeal found that Miller had engaged in misleading conduct.

[83] It is convenient to commence with the first way BMW put its case. The question is whether the conclusion of the majority in the Court of Appeal that the HIH certificate conveyed a misrepresentation was correct.

BMW's first case: the HIH Certificate

[84] Neave JA and Robson AJA found that the endorsement on the HIH certificate, naming four properties and ascribing monetary limits to each, conveyed that it had been issued in respect of a policy of property insurance. Their Honours did not determine whether it conveyed the further representation that the underlying policy was cancellable, although such a conclusion may be implicit in the finding. Robson AJA assumed that the primary judge had treated cancellable and property insurance as being one and the same in the circumstances. It would seem that Robson AJA approached the issue on this basis …

[86] Several features of the HIH certificate should be noted. First, it was issued by HIH's Professional Indemnity Division and it provided for the statement of a "Profession". Secondly, Mr Mitchell [BMW Finance's expert witness] acknowledged that a term of five years is "highly unusual" for a property policy. He agreed that a "prudent broker" noting these two features of the HIH certificate and without more information would not have assumed that it related to a property policy. Thirdly, the premium was $3.75 million and the limit of indemnity was $12 million. Mr Reynolds [BMW Finance employee] said that this was an unusually high premium for a standard property policy. Mr Mitchell described the premium as "large". However, he did not draw any inference from that circumstance. His reticence arose from a fourth feature that is to be noted: the HIH certificate said nothing about the nature of the risks insured. The inference was open that "standard" property policies are cancellable. However, there was evidence that some property policies are not cancellable. Even if the endorsement on the HIH certificate was capable of conveying that the policy was one insuring against loss or damage to property, it cannot be said to have conveyed that it was a "standard" property policy and therefore cancellable. To the contrary, the HIH certificate had features that suggested that the policy was an unusual one.

[87] BMW's claim was that Miller's conduct was misleading. The claim was based on the ground that the HIH certificate conveyed a representation that the underlying insurance was a cancellable property policy. It did not convey that representation. Hence the primary judge and Ashley JA were right to reject that ground for concluding that Miller's conduct was misleading. The majority's conclusion that Miller's conduct was misleading is ultimately dependent upon their Honour's acceptance of the contextual silence case.

BMW's second case: silence

[88] Ashley JA upheld BMW's second case. That case is based on the supply of an "ambiguous" insurance certificate in circumstances in which Miller knew "that it was important to [BMW] that a policy which was to be funded was cancellable" and Miller failed, between October and early December 2000, to inform BMW that the policy was non-cancellable. His Honour said that any misleading impression created by the HIH certificate had not been overcome by the later supply of

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the policy, since there was no evident connection between the two. The reasoning of Neave JA and Robson AJA was to the same effect.

[89] The ambiguity in the HIH certificate that Ashley JA identified was that it "neither plainly identified the insurance as ordinary property insurance, nor plainly identified the contrary". In circumstances in which the HIH certificate was the only document in BMW's hands that unequivocally related to the insurance, his Honour said that it was misleading for Miller to stay silent and not communicate to BMW that the policy was not cancellable, a matter which his Honour said that the HIH certificate "tended to obfuscate". The ambiguity to which his Honour referred was not that the HIH certificate was susceptible of differing interpretations and that one interpretation was that it related to a cancellable property policy. As his Honour found, the HIH certificate did not convey the latter representation. One way of describing the ambiguity is that the HIH certificate may, or may not, have been issued in respect of a cancellable property policy.

[90] Putting to one side the primary judge's finding that Mr Reynolds and Mr Jones [BMW Finance employees] understood that the policy in the bundle was the policy underlying the HIH certificate, the differences between the two documents were capable of causing BMW not to appreciate that it was in possession of the policy to be funded. This would, as Ashley JA observed, leave BMW with the HIH certificate as the only document relating to the insurance.

[91] Was Miller's conduct in failing to inform BMW, in terms, that the policy to be funded was not cancellable, or that the policy in the bundle was the policy to be funded, misleading? That question requires close analysis of all of the circumstances of the transaction [*Butcher v Lachlan Elder Realty Pty Ltd* (2004) 218 CLR 592 at 604 [37] per Gleeson CJ, Hayne and Heydon JJ]. The parties were commercially sophisticated. They were experienced in their respective fields. The transaction involved the assessment by BMW of an application to lend Miller's client $3.975 million. The only document that Miller supplied in support of the application which appeared to relate to the policy to be funded did not disclose the nature of the risks insured. But it did put BMW on notice that the underlying policy may be an unusual one. BMW made no further inquiry. BMW's failure to make reasonable inquiries would not automatically defeat its statutory claim for damages for misleading conduct. However, given the history of this transaction, it is a circumstance that is relevant to whether Miller's conduct in failing to disclose its knowledge of the policy is correctly characterised as misleading …

[93] Miller knew that the cancellability of insurance was important to a premium lender's determination of a loan application. That was not in issue. However, given that Consolidated Timber's application had been approved by the lender, it is to be inferred that cancellability was not critical to the determination of this application. Mr Mitchell acknowledged, as inevitably he must have done, that where the broker understands that the lender (BMW) has approved the loan, as Miller did on 4 October 2000, it is to be inferred that "obviously up to a point the premium funder has been satisfied".

[94] In late October 2000, when Mr Jones of BMW spoke with Mr Merton, agent for Miller, and advised him that BMW would not be proceeding with the loan [note, BMW later agreed to approve the loan in December 2000], he said nothing to put Miller on notice that BMW was under a misapprehension that the policy was cancellable. It will be recalled that when the negotiations for the loan were renewed, Mr Reynolds asked Mr Merton about the availability of directors' guarantees to support the loan. It was not BMW's practice to seek security when lending for cancellable policies. Mr Mitchell acknowledged that recourse to directors' guarantees was a means adopted by premium lenders when funding non-cancellable policies.

[95] The December 2000 loan application related to the same insurance as the earlier application which BMW had approved. It was for the same amount. There was nothing in the conduct of the parties between November 2000 (when Mr Merton contacted Mr Reynolds and negotiations were resumed) and 12 December 2000 (when the application was approved) to convey that cancellability was important to the determination of this later application. The request for directors' guarantees suggested that it was not. There was no foundation for the conclusion that the known importance of

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cancellability gave rise to a reasonable expectation, in the circumstances of this transaction, that Miller would not supply the HIH certificate in response to BMW's request without disclosing at that time or later that the policy was not cancellable.

[96] The requirement of the provision of "full policy information", contained in BMW's quotation dated 8 December 2000, did not make Miller's failure to advise BMW that the policy was not a cancellable property policy misleading. Miller had supplied BMW with a copy of the policy. BMW was an experienced premium lender. The policy was not a lengthy document. It was apparent that it did not insure the holders against loss or damage to property. It did not contain a cancellation clause. Miller's failure to draw to BMW's attention a circumstance that the document itself disclosed was not misleading or deceptive.

[97] The finding that Miller engaged in misleading conduct cannot be sustained.

Appeal allowed.

Demagogue v Ramensky

[33.135] *Demagogue Pty Ltd v Ramensky* (1992) 39 FCR 31 (Federal Court of Australia, Full Court) – Appeal from a single judge of the Federal Court of Australia.

[FACTS: Mr and Mrs Ramensky (the *respondents*) entered into a contract with Demagogue Pty Ltd (the *appellant*) to purchase an estate in part of a proposed building, being lot 5 on certain land at Noosa Heads. The contract recited that the appellant intended constructing a multi-level residential home unit building on the land, and that upon completion the land and building would be subdivided into lots and common property. When the respondents inspected the site with Mr Miller, the appellant's agent, they asked him about access to the property and he replied: "Well, look, of course there will be access. The developer will build a driveway to the road." Later at his office, Mr Miller showed the respondents a plan of the development attached to the contract which showed a driveway coming from the road. The respondents believed this represented the usual situation where vehicular access to a road from a block of home units would be over a driveway located on the common property of the site of the development. In fact, the driveway was a public road, the appellants having applied for and obtained a road licence over public land to provide access. Neither the appellant nor its agent revealed this to the respondents.

When the respondents discovered that access to the site was subject to a road licence in the name of the appellant, they rescinded the contract and initiated proceedings. The appellant cross-claimed seeking specific performance and, in lieu thereof, damages for breach of contract. The respondents resisted the claim for specific performance by reason of the hardship to them in being forced to an election between accepting a transfer of an interest in the road licence in order to have use and enjoyment of the property they purchased and settling the contract without any legal right to use the only practicable vehicular access.

Spender J declared that there had been a contravention of s 52 by the appellants and that the contract was void ab initio. He ordered the appellant to pay the deposit and consequential costs incurred by the respondents. The appellant appealed to the Full Court.]

GUMMOW J: [37] Two issues of importance arise on the appeal. The first concerns the circumstances in which misleading or deceptive conduct, for the purposes of s 52 may be constituted by a factual matrix which includes silence as well as overt activity. In particular, the appellant, at least initially, submitted that the parties as prospective vendor and purchaser were "at arms length" and there was no duty to disclose what did not amount to a latent defect in title. The second issue concerns the meaning of the phrase, in subss 87(1A) and (2)(a) of the Act, "will prevent or reduce the loss or

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damage suffered, or likely to be suffered …" The appellant submitted that it had not been shown that the property as sold was worth less than the contract price and that therefore the respondents could not point to any relevant "loss or damage" to enliven s 87 …

In dealing with both of these issues it is well to bear in mind that whilst contractual rights subsisted between the parties their relationship is not governed simply by the general law as to vendor and purchaser. The legislation regulates the existence and exercise of what would otherwise be the rights at general law and, in addition, itself creates new rights and remedies …

[38] For example, whatever the special rules at general law, no general rule can be laid down which determines the circumstances in which evidence of conversations in pre-contractual negotiations or discussions may be relied upon in a claim alleging contravention of s 52: *Lezam Pty Ltd v Seabridge Australia Pty Ltd* (1992) 107 ALR 291 at 297. Again, it should not be an inhibition upon giving to s 52 what otherwise would be its effect that the result may be to afford under ss 52 and 82 a remedy in damages for what the common law would classify as innocent misrepresentation. Restraint upon what otherwise might be the reach of these provisions of the statute is, in any event, provided by the need to show causation …

The counsel for the appellant placed reliance upon certain passages in the judgment of Bowen CJ in *Rhone-Poulenc Agrochimie SA v UIM Chemical Services Pty Ltd* (1986) 12 FCR 477 at 489–90. His Honour referred to certain relationships which at general law have been held to give rise to an obligation of disclosure. He said that the nature of relationships giving rise to an obligation to make disclosure might well prove useful in determining some of the cases arising under s 52 of the *TPA*. However, Bowen CJ also said:

> Where silence is relied on in order to show a breach of s 52 it will depend upon the circumstances whether the silence constitutes conduct which is misleading or deceptive. As in the case of other sections of the *Trade Practices Act 1974* the court may gain assistance from consideration of cases at common law and in equity dealing with related types of situations. However, the court is not confined by such cases because it is concerned with the interpretation and application of the words of the particular statute.

Referring to the situation under the general law his Honour added (at 490):

> Vendors and purchasers have not generally been regarded as being, without more, in this type of relationship. There are occasions when a particular enactment or even the terms of a particular contract will impose an [39] obligation upon a vendor which will place the parties in a relationship of this type involving an obligation to make disclosure.

The general law has developed a distinction between the obligations of a vendor of disclosure as regards defects in title and defects as to quality of the property sold. Whilst the vendor's duty of disclosure is confined to latent defects in title, it applies to all such defects, whether known to the vendor or not. On the other hand, when the complaint of the purchaser is one going to the quality of the land sold or to the use to which it may be put, or is that owing to non-disclosed facts within the knowledge of the vendor its value will be less than the purchaser supposed, there is no duty of disclosure: Spencer Bower, *The Law Relating to Actionable Non-Disclosure*, 2nd edition, 1990, pp 135–6. The result is that in the absence of any misrepresentation or fraudulent concealment the vendor will incur no liability for failure to make [617] such disclosure: Harpum, "Selling Without Title: A Vendor's Duty of Disclosure?" (1992) 108 LQR 280 at 320 …

In the present case, it is accepted that the title the appellant promised by the contract to convey to the respondents did not include any rights over land outside the relevant parcel. The result was that there was, in the technical sense, no defect in title.

However, Professor Butt explains in his work *The Standard Contract for Sale of Land in New South Wales*, 1985, that if the vendor has represented that the land possesses certain advantages which an undisclosed latent defect [40] in quality falsifies, the vendor, at general law, will not be allowed

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to resist rescission by shielding behind the now false representation: *Laurence v Lexcourt Holdings Ltd* [1978] 2 All ER 810 at 815–17. Further, the learned author points out that in some circumstances silence, in the sense of refraining from comment, may amount to engaging in misleading or deceptive conduct for the purposes of s 52 of the Act.

"Conduct" within the meaning of s 52 includes refusing to do an act and refusal to do an act includes a reference to "refraining (otherwise than inadvertently) from doing that act": subs 4(2). But in any case where a failure to speak is relied upon the question must be whether in the particular circumstances the silence constitutes or is part of misleading or deceptive conduct. The expanded meaning given by s 4(2) to "conduct" should not distract attention from the fundamental issue in the case at hand.

Spender J indicated … that the present case concerns both a positive misrepresentation, as to the provision of vehicular access, and misleading conduct from the failure to say anything about the road licence, with the whole of the circumstances creating in the respondents the clear but erroneous impression that there was nothing unusual concerning access to the site.

In my view, to inquire in such a case whether an independent "duty to disclose" has arisen is to digress from the application of the terms of s 52. Thus, in *Rhone-Poulenc* the basic proposition for which the appellants unsuccessfully contended was that a manufacturer who sells a product it knows is bought by consumers for the purpose for which it was made, contravenes s 52 if the sale and use of the product is unlawful and the product is liable to forfeiture and the manufacturer has not made this known to consumers; see 12 FCR at 505–6, per Lockhart J. Again, in *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 79 ALR 83, the positive statement on behalf of the restaurant vendor that the restaurant seated 128 people was, in the circumstances of the case, misleading when unqualified by words which distinguished the actual capacity from the licensed capacity, that being a matter of vital importance given the nature of the business being sold. In my view it is unhelpful to describe that result, involving as it does a contravention of s 52, as the product of the breach of any "duty" imposed upon the vendor by that section.

The use of the term "duty" is apt to suggest a necessary connection with the general law, which does not exist and is not required by the statute; cf *Lam v Ausintel Investments Australia Pty Ltd* (1990) ATPR 40-990 at 50,880–1. I agree with what was said by Samuels JA in *Commonwealth Bank of Australia v Mehta* (1991) 23 NSWLR 84 at 88:

> … silence is not misleading only where there is a duty to disclose at common law or in equity. It may simply be the element in all the circumstances of a case which renders the conduct in question misleading or deceptive …

[41] [C]onsistently with regard to the natural meaning of the terms of s 52, the question is whether in the light of all relevant circumstances constituted by acts, omissions, statements or silence, there has been conduct which is or is likely to be misleading or deceptive. Conduct answering that description may not always involve misrepresentation; see *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 79 ALR 83 at 93, per Lockhart J, and see Mr Justice French's paper "Trade Practices Act" in Finn ed, *Essays on Torts*, 1989, pp 186–8. I agree also with the remarks by French J in *Kimberley NZI Finance Limited v Torero Pty Ltd* (1989) ATPR (Digest) 46-054 at 53,195 where, after referring to various authorities, his Honour said:

> If in a particular case silence would, as a matter of fact, constitute misleading or deceptive conduct, sec 52 by virtue of its prohibition of such [619] conduct imposes its own statutory duty to make disclosure. The cases in which silence may be so characterised are no doubt many and various and it would be dangerous to essay any principle by which they might be exhaustively defined. However, unless the circumstances are such as to give rise to the reasonable expectation that if some relevant fact exists it would be disclosed, it is difficult to see how mere silence could support the inference that the fact does not exist.

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As this passage suggests, one may give s 52 full effect without entirely doing away with what Barton J described as "superior smartness in dealing": *W Scott, Fell and Company Limited v FH Lloyd* (1906) 4 CLR 572 at 580. Nor does the application of s 52 in the manner suggested necessarily involve the outflanking by statute of developments in the law of contract, tort, fiduciary duty and estoppel of an obligation in certain cases to negotiate in good faith; see *Coal Cliff Collieries Pty Ltd v Sijehama Pty Ltd* (1991) 24 NSWLR 1, *Walford v Miles* (1992) 1 All ER 453 (HL), Peel, "Note" (1992) CLJ 211, Farnsworth *Contract*, 1982, 3.26. But, in Australia, discussion of these issues in the general law is plainly defective without close regard to the impact of the Act ….

In my view, the appellant has not shown any reason for departing from the findings of the primary Judge as to the engagement by the appellant in conduct contravening s 52. I should add that there is no challenge to his Honour's further finding that in entering the contract the respondents placed the necessary reliance upon the misleading conduct of the appellant.

There remains the complaint that there was no relevant loss or damage to attract the making of orders under sub-s 87(1A).

Section 82 provides for the recovery in an action of the amount of loss or damage. On the other hand, the powers of the Court under sub-s 87(1A) are expressed in terms that are permissive rather than mandatory. The appellant [42] submitted that the exercise of discretion by the primary Judge miscarried because his Honour wrongly acted on the footing that the appellant's conduct had been fraudulent. The presence or absence of fraud is a relevant factor in the exercise of powers under this provision: *Munchies Management Pty Ltd v Belperio* (1988) 84 ALR 700 at 714. The passage in question in the reasons of the primary Judge is as follows:

> In all the circumstances, in my opinion, (the respondents) are entitled to relief pursuant to s 87 of the Act. Demagogue *deliberately chose to be silent* about the question of the road licence in circumstances where its product was towards the top end of the range and where prospective purchasers were entitled to be told what in truth they were buying. (Emphasis supplied)

No case of common law fraud was pleaded and none found. But the evidence to which I have referred provides ample ground for inferring (i) that both at the time the draft contract was shown to the respondents and at the time of their execution of the contract the appellant was well aware of the need for a Road Licence to enable construction of a driveway to provide a practicable vehicular access to the Picture Point Terraces development and (ii) that the silence in the contract on this matter was not the result of inadvertence to the problem on the part of the appellant. The primary Judge's remarks should be understood in the light of his earlier finding as to contravention, in all the circumstances, of s 52. In this setting, the use by the primary Judge of the term "deliberately chose to be silent" is not open to objection. It indicates that the disclosure to the respondents which the appellant refrained from making was otherwise than inadvertent, and thus "conduct" within the terms of subs 4(2).

Where a contract is entered into as a result of fraudulent misrepresentation by the defendant and the plaintiff affirms the contract, an action in deceit requires proof of the difference in value between what was paid and what was acquired. Subsequent depreciation in value ordinarily should not be taken into account in determining the real value at the time of the purchase: *Gould v Vaggelas* (1985) 157 CLR 215 at 220–2.

However, in the present case, the purchasers did not affirm the contract and seek damages under s 82, by analogy with damages in deceit. The burden of their case is that they should not be held to the contract because, as the primary Judge found, they would not have entered it but for the conduct of the appellant in contravention of s 52.

Section 4K of the Act states: "4K. In this Act: (a) a reference to loss or damage, other than a reference to the amount of any loss or damage, includes a reference to injury; and (b) a reference to the amount of any loss or damage includes a reference to damages in respect of an injury."

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The phrase "loss or damage" appears in s 82 and in various sub-sections of s 87, particularly subss (1) and (1A). In my view, on this appeal nothing turns upon the circumstance that in a given case sub-s (1) may be attracted only by reason of the making of an application under s 82 to recover the amount of the loss or damage suffered by conduct in contravention in a provision of Part IV or V.

Section 82 is concerned with the recovery of "the amount of the loss or [43] damage" suffered by conduct in contravention of the Act. Subsection 87(1) requires that the Court consider that its order will compensate "in whole or in part" for the loss or damage or will prevent or reduce the loss or damage. Subsection 87(1A) requires that the orders concerned will compensate in whole or in part for the loss or damage suffered "or likely to be suffered", or will "prevent or reduce the loss or damage suffered, or likely to be suffered …".

Thus, whilst s 82 is concerned with the recovery of an *amount* representing the loss or damage, s 87 is concerned with compensation, whether in whole or in part, for loss or damage and with the reduction of loss or damage, and with the prevention of loss or damage which is likely to be suffered. In the phrase "likely to be suffered", the word "likely" speaks of a "real chance or possibility": *State of Western Australia v Wardley Australia Limited* (1990) 30 FCR 245 at 261.

One significant distinction between ss 82 and 87 is the quia timet operation of s 87. On the appeal to the High Court in *Wardley Australia Limited v The State of Western Australia* (28 October 1992, unrep) Mason CJ, Dawson, Gaudron and McHugh JJ said (p 9 of the Print): "The Act draws a clear distinction in Pt VI between loss or damage which may be recovered under s 82 and the likelihood of loss of damage which may be prevented, or, if not prevented, reduced by one of the remedies under s 87." Deane J said (p 27) that the statute in s 87 expressly distinguishes between the actual suffering of loss or damage and the likelihood (or contingency) that loss or damage will be suffered in the future. This emphasises that the phrase "the loss or damage", at least in s 87, may be concerned with more than pecuniary recovery as understood in the law of damages in tort; tort law postulates the commission, already accomplished, of a wrong: *Leeds Industrial Co-operative Society Limited v Slack* [1924] AC 851 at 859, 868–9.

Further, unlike the position at general law with the administration of the equitable remedy of rescission of contracts, orders under s 87 may be made not only against parties to the contract but also against third parties, being persons involved (within the meaning of s 75B) in the contravention as a result of which the plaintiff entered into the contract: *Lezam Pty Ltd v Seabridge Australia Pty Ltd* supra at 304, *Munchies Management Pty Ltd v Belperio* supra at 714.

The respondents complain that they entered into a contract as the result of reliance upon conduct which contravened s 52. Why should they not be described as having suffered loss or damage, within the meaning of s 87, by that very reliance and entry into legal relations from which they otherwise would have abstained? If that contract be declared void ab initio as provided for in sub-s 87(2)(a), will that not reduce this loss or damage?

It may well be that in a given case the contract is not financially disadvantageous to the complainant. But, at least in Australia, if a contract is rescinded in equity for some vitiating factor in its formation, it is not sufficient for the defendant to show that the transaction to which the complainant was improperly induced to assent, after all, contained terms which, viewed objectively, were not manifestly disadvantageous so that the complainant should freely have accepted them. The complainant is entitled to say that but for the unconscientious conduct of the defendant he or she would not have entered into any transaction with the defendant; see Cope "Undue Influence and Alleged Manifestly Disadvantageous Transactions" (1986) 60 ALJ 87 [44] at 96–7, where the High Court authorities are discussed, and cf *Bank of Credit and Commerce International v Aboody* [1990] 1 QB 923.

It would be an odd result if s 87 and s 4K were to be read in a contrary sense by giving too narrow a meaning to the phrase "loss or damage" …

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Further, even if some pecuniary detriment (further propounded as a "real chance" or as presently existing) is required in all s 87 cases, that requirement is present here.

If the respondents' claim to relief under s 87 fails and the contract remains on foot, they have to answer, on this appeal, the claim against them for specific performance. If an order for specific performance were made against them it would require them to pay the contract price on what is now a fallen market. That would not provide a sufficient answer to the claim for specific performance. Movement in the value of the land since the date of the contract is not, in itself, a material consideration in formulation of a defence of hardship: *Fitzgerald v Masters* (1956) 95 CLR 420 at 433.

Nevertheless, in my view, the consequences of the administration of an order of specific performance does, within the meaning of s 87, entail a real chance or possibility of the suffering by the respondents of loss or damage even within the narrower reading of that phrase in s 87. Further, it would be accurate to say that the likelihood of the respondents suffering that loss or damage is something which is caused by and flows from the contravention of s 52. Specific performance is sought by the appellant of the contract into which the respondents would not have entered but for the appellant's contravention … [T]he respondents resist a decree of specific performance on various discretionary grounds. It is not necessary to determine whether such a defence is made out. It is sufficient to say that the defence is substantial and not colourable. Were the defence to succeed, the appellant would be left an inquiry as to damages for breach of contract by the respondents. The exposure of the respondents on such an inquiry would be in a significant order. Again, there is a real chance or possibility of the suffering by the respondents of loss or damage and again, in my view, that likelihood is sufficiently connected with the contravention of the Act by the appellant.

I conclude that the relief under s 87 was properly ordered by the primary Judge … the primary Judge acceded to the submission of the parties that the inquiry as to damages should be stood over pending the outcome of the other issues (Appeal Book 438, 448–9). His Honour preferred to act under s 87 on the footing that the need for the road licence, its conditions and annual fee, was a factor which adversely affected the value of a unit at Picture Point Terraces "in a non-trivial way". While the quantification of the loss and damage suffered by the respondents was left uncertain, these circumstances, in a not immaterial way, reduced the attractiveness and value of the units in the development. But, as I have [45] indicated, in my view it is sufficient to support the operation of s 87 in the present case that whether or not the real value of the property at the time of purchase was diminished in this way, at the trial there was sufficient likelihood of the suffering of loss or damage by the administration of the common law and equitable remedies on the contract sought against the respondents by the appellant ….

[46] The appeal should be dismissed with costs.

[BLACK CJ and COOPER J delivered judgments in which they agreed with Gummow J that the appeal should be dismissed.]

Appeal dismissed.

Representations about future matters

[33.140] Statements about the future are governed by s 4 of the ACL.

(1) If

(a) a person makes a representation with respect to any future matter (including the doing of, or the refusing to do, any act); and

(b) the person does not have reasonable grounds for making the representation;

the representation shall be taken to be misleading.

(2) For the purposes of applying subsection (1) in relation to a proceeding concerning a representation made with respect to a future matter by:

(a) a party to the proceeding; or

(b) any other person;

the party or other person is taken not to have had reasonable grounds for making the representation, unless evidence is adduced to the contrary.

(3) To avoid doubt, subsection (2) does not:

(a) have the effect that, merely because such evidence to the contrary is adduced, the person who made the representation is taken to have had reasonable grounds for making the representation; or

(b) have the effect of placing on any person an onus of proving that the person who made the representation had reasonable grounds for making the representation.

(4) Subsection (1) does not limit by implication the meaning of a reference in [the ACL] to:

(a) a misleading representation; or

(b) a representation that is misleading in a material particular; or

(c) conduct that is misleading or is likely to mislead;

and, in particular, does not imply that a representation that a person makes with respect to any future matter is not misleading merely because that person has reasonable grounds for making the representation.

Promises

[33.145] The making of a misleading contractual promise may, in certain circumstances, also be a form of misleading conduct. Section 2(2)(a) of the ACL provides:

A reference to engaging in conduct is a reference to doing or refusing to do any act, including:

(i) the making of, or the giving effect to a provision of a *contract* or arrangement; or

(ii) the arriving at, or the giving effect to a provision of an understanding; or

(iii) the requiring of the giving of, or the giving of, a covenant [emphasis added].

A party may need to rely on the ACL where a promise is not contractual in nature (because, for example, it is not supported by consideration – see Chapter 4). It may also be necessary to rely on the ACL to enforce a contractual promise if that promise is unenforceable (because, for example, it does not comply with statute of frauds requirements – see Chapter 7) or if a third party (who will be precluded from enforcing the contractual promise by the doctrine of privity – see Chapter 11) wishes to enforce the promise.

A contractual promise may purport to affirm a presently existing state of affairs. A contractual promise as to an existing fact or state of affairs is sometimes called a warranty. A promisor may, for example, warrant that the promisor's house is free of termites, or that the promisor is the sole beneficial owner of copyright in a computer programme. If the promised state of affairs does not exist, the making of the promise may result in liability for misleading conduct (see *Accounting Systems 2000 (Developments) Pty Ltd v CCH Australia Ltd* (1993) 42 FCR 470, at [33.150]).

However, it is more common that contractual promises will relate to future conduct. The making of a promise or commitment to do something in the future can be analysed in one of two ways. First, whether or not a promise to do something in the future can be analysed by deriving implied representations of current fact from the making of the promise (for example,

that at the time of making the promise the promisor intends to honour the promise and has the capacity to honour the promise) but see *Forrest v Australian Securities and Investments Commission* [2012] HCA 39; (2012) 247 CLR 486, at [33.162]. Secondly, the making of the promise may represent that it will be honoured in the future. In *Futuretronics International Pty Ltd v Gadzhis* [1992] 2 VR 217 (at [33.155]) Ormiston J considered when the making of a promise to do something in the future will constitute misleading or deceptive conduct.

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[33.150] *Accounting Systems 2000 (Developments) Pty Ltd v CCH Australia Ltd* (1993) 42 FCR 470 (Federal Court of Australia, Full Court) – Appeal from a single judge of the Federal Court of Australia.

[FACTS: Accounting Systems 2000 (Developments) Pty Ltd (*Developments*) carried on business as a developer of computer software. It entered into a contract with Castle Douglas Pty Ltd (*Castle Douglas*) on 23 December 1988 (the Castle Douglas agreement). Under this agreement, Developments claimed to be the proprietor of certain computer systems and as assignor purported to assign all interest in the copyright in those systems (including a system known as the AS system) to Castle Douglas as assignee. Under cl 3.1 of the contract the assignor warranted (a) that it was the sole beneficial owner of the copyright in the systems; (b) that it was entitled to assign such copyright to the assignee without the consent of any other person; and (c) that there was no claim or potential claim against the assignor for infringement or breach of copyright. CCH Australia Ltd (CCH), in the belief that copyright had been assigned to Castle Douglas, took a licence from Castle Douglas in respect of the computer systems and expended money under that licence. Another company, Focus Business Systems Pty Ltd, claimed that Developments, in developing the AS system, had infringed an earlier system which it owned (the Focus system). CCH and Castle Douglas brought proceedings against Developments.

O'Loughlin J held the AS system infringed the Focus system and that there was a breach, by Developments, of warranties (b) and (c). (There was no breach of (a) because a work which infringes the copyright in its predecessor may, if not a slavish copy, still attract its own copyright. Thus the licensee of a new work, such as CCH, could escape the risk of suit only if a licence were given by the owners of both copyrights.) He held further that the breadth of the provision in s 4(2) of the *Trade Practices Act 1974* (TPA) [now ACL, s 2(2)] as to the meaning of the phrase "engaging in conduct" was such that the term "conduct" would embrace the giving of warranties in an agreement without any anterior representation or other conduct. If those warranties were inaccurate at the time when given, the giving of them could be capable of constituting misleading or deceptive conduct within the meaning of s 52 of the TPA [now ACL, s 18] and attracting remedies under ss 82 and 87 [now ACL, ss 236 and 237 respectively].

The judge made an order under s 87, declaring the Castle Douglas agreement void ab initio. He held further that CCH, although not itself a party to that agreement, was entitled to recover damages under s 82. This was because, in the belief that copyright had been assigned to Castle Douglas, it took a licence from Castle Douglas, so that the conduct of Developments was a direct cause of CCH's expenditure under its licence. Developments appealed to the Full Court.]

LOCKHART AND GUMMOW JJ: [380] It will be recalled that the phrase in subs 52 (1) is "engage in conduct" and that the concluding words, "or is likely to mislead or deceive" were inserted by the *Trade Practices Amendment Act 1977* (the 1977 Act). The 1977 Act also substituted a new s 45 and added ss 45A, 45B, 45C, 45D as well as making other significant changes to the legislation. [Their Honours set out s 4(2)(a) and continued:]

[496] In our view, there was a breach of both … warranties on the date they were given 23 December 1988 if there was infringement of the Focus system by the AS system. It will be noted from the terms of para 6 of the pleading that the representations relied upon are said to have been made "prior to 23 December 1988", and to have been made not only to Castle Douglas, the party to the Castle

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Douglas agreement, but also to CCH. However, the particulars indicate that the representations were said to have been made in the agreement itself …

The trade practices issue

[470] In our view, the primary judge reached the correct result on this issue.

We reach this conclusion by the following steps:

(1) As is the case with Part IV of the TPA, the evident purpose and policy underlying Part V, which includes s 52, recommends a broad construction of its constituent provisions, the legislation being of a remedial character so that it should be construed so as to give the fullest relief which the fair meaning of its language will allow …

(2) [504] Section 52 should be construed against the background of the general law, but the Court should not be inhibited from giving effect to what on its proper construction is provided for in the legislation by the consideration that to do so may result in the imposition of liabilities and the administration of remedies which differ from those supplied by the general law …

(3) Whilst s 52 speaks of "conduct", many of the decided cases have dealt with that species of conduct which involves what at general law would be classified as "representations" as to a present state of affairs. But it is necessary to keep steadily in mind when dealing with the statute that "representation" is not co-extensive with "conduct".

(4) Various provisions of Div 2 of Part V imply conditions and warranties in certain consumer transactions and the application thereof may be excluded or modified; see ss 68, 69, 70, 71, 72. Where these implied conditions are breached, a special right of rescission is given by s 75A: *Australian Guarantee Corporation Ltd v Jennings* [1981] 1 NSWLR 50. Here, the complaint concerns an express not an implied "warranty" and Div 1 of Part V and the remedies in Part VI are relied upon.

(5) There is a particular risk in the present case with the immediate transfer of common law concepts to the construction of the statute. It arises from a misconception as to the nature of the general law. Representations are generally perceived as extra-contractual, that is to say if fraudulent, as tortious, and whether innocent or fraudulent, as providing a ground in equity of rescission of the transaction entered into as a consequence hereof …. On the other hand, the term "warranty" generally is perceived as identifying (i) a species of contractual affirmation of fact or promise or, alternatively, (ii) not as a promise but as a representation of fact, the truth of which is a condition precedent to the obligation of the other party to perform the contract. (As to this latter use of "warranty", see *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377 at 407–10; *Corbin on Contracts*, 1963, para 14.) As to the former use of "warranty", Williston points out, after giving several definitions:

> It should be observed that under these definitions, a warranty is not necessarily a promise or contract. The law of warranty is older by a century than special assumpsit, and the action on the case on a warranty was in part the foundation of the action of assumpsit. An action on a warranty was regarded for centuries as an action of deceit, and it was not until the second half of the eighteenth century that the first reported decision occurs of an action in assumpsit on a warranty. And it is still generally possible where a [470] distinction of procedure is observed between actions of tort and of contract to frame the declaration for breach of warranty in tort. It is probable that most persons instinctively think of a warranty as necessarily a contract or promise, but though frequently warranties are true promises and contracts, in other cases they are merely representations which induce a sale … (*Williston on Contracts*, 3rd ed, 1964, section 970).

(6) … [T]he terms of cl 3.1 of the Castle Douglas agreement in paras (b) and (c) contains what are therein described as two warranties by Developments in favour of Castle Douglas. Each

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warranty speaks as to a present state of affairs. It follows from what has been said above that the Court should resist the temptation to reason that (i) s 52 is concerned with representations (rather than the larger concept of "conduct"), and (ii) cl 3.1 of the Castle Douglas agreement is concerned with what are therein identified as "warranties" and "warranty" is a concept distinct from "representation", so as to take cl 3.1 outside s 52.

(7) The text of para 4(2)(a) of the TPA, which was inserted by the 1977 Act, has been set out. In terms, the paragraph includes, within the sense of conduct "in this Act", the making of or giving effect to of a provision of a contract. The 1977 Act is to be construed with the TPA and as part thereof, in the absence of a contrary intention: *Acts Interpretation Act 1901*, s 15. The word "conduct" appears elsewhere than in s 52, in particular in various provisions of Part IV which were added or amended by the 1977 Act. Examples are found in sub-s 45(6), sub-s 45B(2) and s 45D. The 1977 Act also introduced into Part V s 55A. This is a provision proscribing certain "conduct". Paragraph 4(2)(a) should not be read as confined in its application to Part IV. Other provisions of Part V, for example ss 52 and 55, already operated by reference to certain "conduct". And, as we have indicated, s 52 was in another respect (the addition of the words "or is likely to mislead or deceive") amended by the 1977 Act. Essential provisions of Part VI, dealing with remedies, ss 80 and 87, have been from the introduction of the legislation so drawn as to refer to "conduct". Section 82 in dealing with contraventions of Part IV and Part V, originally spoke of persons suffering loss or damage "by an act of another person". The 1977 Act introduced a new s 82 which gave an action for damages for persons suffering loss or damage "by conduct …".

(8) The result of this examination of the provisions of the legislation before and after the 1977 Act is that para 4(2)(a), in dealing with "conduct" operates generally, in its terms, so that the TPA after the 1977 Act, was to be read as "one connected and combined statement of the will of Parliament …": *Sweeney v Fitzhardinge* (1906) 4 CLR 716 at 735. So understood, para 4(2)(a) provides significant support for the conclusion reached in this case by the primary Judge, and for the general proposition that the making of a statement as to a presently existing state of affairs, if false, may be the engaging in misleading or deceptive conduct, where the statement is embodied as a provision of a contract. In many cases, there will have been pre-contractual conduct which itself contravenes s 52. The present case is a striking one because it was [506] presented on a narrower basis, and concerned the giving of the warranties in the contract itself.

(9) Where the conduct relied upon involves not a statement as to presently existing state of affairs, but a presentation with respect to a future matter, which is contained purely in a contractual promise, then a case for contravention of s 52 will involve consideration of the extra steps spelled out in s 51A of the TPA …

(10) In the present litigation, the significance of the contravention of s 52 was to enliven the powers of the Court under ss 82 and 87. This emphasises that s 52 does not purport to create liability, nor to vest in any party any cause of action in the ordinary sense of that term; rather, it establishes a norm of conduct and failure by those to whom it is addressed, in its various operations, to observe that norm has the consequences provided for in the remedial provisions which found primarily in Part VI: *Tobacco Institute of Australia Ltd v Australian Federation of Consumer Organisations Inc* (1988) 19 FCR 469 at 473–4.

(11) Where contravention of s 52 is linked with a claim for damages under s 82 and the representation complained of was a contractual warranty, it may be necessary to consider whether the measure of damages that would be recoverable under s 82 would differ from that available at common law for breach of the warranty ….

(12) It also needs to be borne in mind that, in a case such as the present, standing to seek remedies under Part VI, such as those provided for in ss 82 and 87, is not limited to parties in contractual relations with the party which contravened s 52 …. It is no objection to relief under these provisions that the misleading conduct is found in the making of a contractual provision, and

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the complainant does not have contractual privity with the defendant. This may be contrasted with the uncertain (and perhaps unsatisfactory) state of the general law disclosed in *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107; there the plaintiff did not plead any count alleging contravention of s 52.

(13) The orders made by the primary judge in this case proceeded upon the footing described above. Consistently with what has been said, the applicants for the relief included not only Castle Douglas, the party to the Castle Douglas agreement, but also CCH, which controlled Castle Douglas, and the relief under ss 82 and 87 was obtained not only against Developments but its confederate, Systems 2000.

For these reasons, we conclude that the primary judge correctly decided the trade practices issue ….

The question then is whether his Honour is correct in deciding the copyright infringement in such a way as to involve breaches of paras (b) and (c) of cl 3.1 of the Castle Douglas agreement.

[Their Honours proceeded to find that the primary judge was also correct on the copyright infringement issue.]

[395] The appeal should be dismissed.

[NORTHROP J delivered a dissenting judgment in which he held that the words of inclusion in s 4(2)(a) applied only to the making of a contract or arrangement or an understanding of the kind referred to in Pt IV of the TPA and had no application to s 52.]

Appeal dismissed.

Futuretronics International v Gadzhis

[33.155] *Futuretronics International Pty Ltd v Gadzhis* [1992] 2 VR 217 (Supreme Court of Victoria).

[FACTS: The *plaintiff* (Futuretronics) put up a commercial building for sale by public auction. The conditions of sale stated that the successful bidder should pay the deposit and sign the contract of sale immediately the property was knocked down to her or him. If this was not done within 20 minutes, the vendor could recommence the auction or sell by other means to another person. The conditions also provided that the vendor or his representative could bid. In fact bids were made on behalf of the vendor, but the twelfth and final bid of $2.25 million was made by the *defendant*, Mr Gadzhis. Shortly after the property was knocked down to him, the defendant informed the auctioneer (Mr Sweet) that he did not intend to sign the contract of sale. The auctioneer attempted to persuade Mr Gadzhis that he was obliged to sign but to no avail. The plaintiff sued the defendant for breach of a collateral contract to sign the contract of sale, and for contravention of s 11 of the *Fair Trading Act 1985* (Vic) [now ACL, s 18].]

ORMISTON J: [The judge first found that although the defendant at the time of making the bid intended to be bound by the auction conditions, and although an oral contract including a term requiring signature was formed when the defendant's bid was accepted, this contract was unenforceable for failure to satisfy the *Instruments Act 1958* (Vic). The judge then turned to the claim under the *Fair Trading Act 1985*.]

[233] The alternative claim pleaded by the plaintiff relied on the provisions of the *Fair Trading Act 1985*. In particular the plaintiff asserted that the defendant's bid "constituted a representation to the plaintiff, and the defendant thereby warranted, that the bid was genuine and that he intended to be bound by the auction conditions." The plaintiff further asserted that the representation was untrue and "at the time of making the representation the defendant did not believe, and there was no reasonable grounds to believe, that he would comply with the auction conditions by paying the said

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deposit and signing the said contract of sale." It should be added that the plaintiff also alleged that it had, "in reliance on the defendant's said bid, instructed the auctioneer to conclude the auction, sought no further bids and did not negotiate with any prospective purchasers for the sale of the land to them." Reliance by the plaintiff was disputed but it was not seriously suggested in argument that the plaintiff, through his agent the auctioneer, "had sought no further bids" at the auction. It is clear that the auction took the usual course in that, when Mr Gadzhis's bid was made, it was announced that the property was "on the market" and then the auctioneer sought further bids from those present, although he was unsuccessful in obtaining any response.

Returning to the alleged representations, it should be noted that they are confined to the genuineness of the bid and the defendant's intention to be bound by the auction conditions. Nevertheless in final address the plaintiff argued that the defendant falsely represented by his bid "that he would sign the auction contract if it was accepted." Of course, the factual basis relied upon was the same for the representation whether as pleaded or argued, namely the single bid made by Mr Gadzhis at the auction by raising his hand when the price reached $2.25 million. The defendant had said nothing at the relevant time and his only other relevant conduct was to remain silent and not retract or deny his bid when Mr Sweet said the property was "on the market" and unsuccessfully sought further bids from those present. That conduct amounted to an offer by Mr Gadzhis to purchase the property which was accepted by the plaintiff's auctioneer on knocking the property down to him. Thereby in law the defendant impliedly agreed to purchase the property, although enforcement of that agreement was in practice and in law restricted by the absence of the required memorandum in writing. The plaintiff contended that the defendant, at the time of the offer or the acceptance thereof, did not believe, and there was no reasonable ground to believe, that he would comply with the auction conditions by paying the deposit and signing the said contract of sale. It was thus argued that the making of the defendant's offer *in those circumstances* constituted in itself misleading or deceptive conduct. But, as I have already held, Mr Gadzhis had no belief or intention that he would not comply with the auction conditions when he made his bid. Only afterwards, that is after the property was knocked down to him, did he change his mind and refuse to sign.

It might be argued that the relevant misleading and deceptive conduct extended beyond the implicit representation made [234] in the bid and that, in the case of promissory conduct, both the promise and the breach may be characterised as constituting the relevant conduct. So, it appears, argue Greig and Davis in their work *The Law of Contract* (1987) at pp 813–15, a passage which obtained qualified approval from Kearney J in his consideration of the provisions of the equivalent New South Wales legislation, the *Fair Trading Act 1987*, in *Holt v Biroka Pty Ltd* (1988) ASC 55-674 at 58, 104-58, 105; (1988) 13 NSWLR 629 at 635–6. In the present case, however, the plaintiff pleaded no claim in terms of a representation as to future conduct and confined its allegation to two representations (a) that the bid was genuine and (b) that Mr Gadzhis intended to be bound by the auction conditions. Neither was expressed and must be implied from the nature of the bid, if those representations are to be made out. It is not necessarily obvious that what amounts to a bid, and thus in law an offer, must amount also to a representation, whether as to the genuineness of that bid or as to the bidder's current intention to be bound if the bid is accepted. It clearly amounts to an offer which, if accepted has certain legal consequences, at least in normal circumstances. As the Full Federal Court said in considering s 52 of the *Trade Practices Act*:

> The non-fulfilment of a promise when the time for performance arrives does not of itself establish that the promisor did not intend to perform it when it was made or that the promisor's intention lacked any, or any adequate, foundation. Similarly, that a prediction proves inaccurate does not of itself establish that the maker of the prediction did not believe that it would eventuate or that the belief lacked any, or any adequate, foundation.

Global Sportsman Pty Ltd v Mirror Newspapers Pty Ltd (1984) ATPR 40-463 at 45,344; (1984) 2 FCR 82 at 88. See also *Adelaide Petroleum NL v Poseidon Ltd* (1988) ATPR 40-901 at 49,699–700 and the cases cited therein.

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Those observations were made, however, in relation to proceedings to which s 51A of the *Trade Practices Act*, the equivalent of s 10A of the *Fair Trading Act*, was not applicable.

Both ss 51A and 10A [now ACL, s 4] have been thought to expand the potential scope of each Act in relation to promissory conduct, but the language of each section is specific and is directed to representations as to "future" matters.

[His Honour then set out s 10A of the *Fair Trading Act*.]

Notwithstanding that each section has been enacted for some years there is surprisingly little authority as to their precise meaning and none was cited in argument. See, however, *Adelaide Petroleum NL v Poseidon Ltd* (1988) ATPR 49,695 at 49,700; *Wheeler Grace and Pierucci Pty Ltd v Wright* (1989) [235] ATPR 40-940 at 50,254–5; *Wright v TNT Management Pty Ltd* (1989) ATPR 40-929 at 50,060–2; (1989) 15 NSWLR 679 at 689–90; and compare French J, "A Lawyer's Guide to Misleading or Deceptive Conduct" (1989) 63 ALJ 250 at 259–61. The relatively brief discussion therein of the new section leaves it by no means clear whether the incurring of a contractual obligation of itself should be taken as amounting to a representation as to future conduct.

It is not difficult to see that particular promises may be expressed in terms which can properly be characterised as representations as to future conduct, albeit that the promises form part of the process of making a contract. It is another matter to take obligations arising under a contract and imply from them representations from each side that it will perform the agreed obligations. Ordinarily each party is thereby bound, so any further representation as to the performance of the contractual obligations is superfluous, unless sought for some special reason. However, it is important to examine with some care *Wright v TNT Management*, where the alleged representation was that the respondent employer would provide in the future a reasonably safe system of work and reasonably competent staff for the appellant employee. The appellant's difficulty was that such a term was not expressly agreed but arose only by implication of law. As Clarke JA said (at 50,066; 697):

> The case must be distinguished from one in which an employer makes an express representation or makes statements which give rise to the implication that it is representing that a certain state of affairs exists or that a certain course of conduct will be followed in future. Putting to one side the problems which arise when statements as to future intentions are made there is a reasonable argument that statements made by an employer, whether constituting an express representation or as giving rise to an implied one, constitute an engagement in conduct which, if the representation is incorrect, was misleading or likely to mislead.

After discussing the various categories of implied terms and in particular those which are implied as a matter of law, his Honour concluded on this subject (at 50,068; 698): "But where the only conduct of the respondent was the entry into a contract in which, as a matter of law, a term or warranty was implied I am unable to accept that because the warranty was later breached any question of misleading conduct arises."

Mahoney JA took a similar view treating, as I understand it, the word "warranty" as the equivalent of "representation". His Honour made these observations (at 50,057; 684):

> A warranty as to what an employer will or may do for his worker may come into existence in at least three ways. It may be given expressly by the employer; it may be given by him by implication, in the sense that, though the words of warranty are not expressed, there is to be inferred from what the employer did the actual giving of the warranty; or, though the employer had no actual intention or purpose to give the warranty, it may be imputed to him by law. And, of course, that imputation may occur by force only of the common law or because of the statutory stipulations to that effect.
>
> Where the warranty arises because, expressly or by implication, the employer intended it to be given, the circumstances may warrant the worker taking from the making of the contract of employment that the employer will do what he warrants. The warranty, in the

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> circumstances, may give the worker to understand that that will be so. In such a case, the conclusion will be open that, from the conduct of the employer in doing what he did, the [236] worker was to take it that the employer would act in a particular way. And, if the employer had, for example, no intention or no provision for doing so, then the conclusion may be open that that which the worker took from the contract of employment would mislead.
>
> But, in my opinion, this does not follow where the warranty arises by imputation. If, for example, there be nothing more than that, absent actual intention, the law imputes or imposes on the employer the relevant warranty, it by no means follows that the worker may, in the relevant sense, take from the making of the contract of employment that the employer will, or will be able to, do what the warranty requires.

It is interesting to note that the analysis in both Mahoney and Clarke JJA's judgments depended upon s 52 of the *Trade Practices Act* and not upon s 51A which was not expressly pleaded. On the other hand the opposite conclusion was reached by the dissenting member of the court, McHugh JA. Although he reached that conclusion, he did not do so by reason of the direct application of s 52 but only in reliance on s 51A and he would have allowed an amendment to be made for that section to be raised. Moreover, he did not take the view that a contractual promise automatically imputed a representation by the promisor of a kind that would constitute misleading or deceptive conduct. He pointed out that s 52 had received an interpretation which had led to the conclusion that a promise of future conduct was not actionable unless it implied a representation as to an existing or past fact: 50,060; 688. He referred with approval to the analysis (of different legislation) by MacKenna J in *R v Sunair Holidays Ltd* [1973] 1 WLR 1105 at 1110, in which his Lordship said:

> A statement that a fact exists now, or that it existed in the past, is either true or false at the time when it is made. But it is not the case with a promise or a prediction about the future. A prediction may come true or it may not. A promise to do something in the future may be kept or it may be broken. But neither the prediction nor the promise can be said to have been true or false at the time when it was made.

After referring to the conclusion of the Federal Court in *Global Sportsman Pty Ltd v Mirror Newspapers Pty Ltd* at ATPR 45,344; FCR 88, he said that "to overcome this difficulty" s 51A had been enacted in the *Trade Practices Act*: at 50,061; 689. Having set out that section in full he concluded (at 50,061; 698): "The plaintiff contended that a promise by an employer to provide a reasonably safe system of work and reasonably competent staff is a representation that they will be provided in the future for the purposes of s 51A. I think that this submission is correct in principle."

Later his Honour explained his conclusion (at 50,061; 690):

> At common law a representation outside a contract would only give rise to legal consequences if it was in respect of an existing or past fact; a contractual promise as to the future did have legal consequences. But for the purposes of Pt V, s 51A must be taken to have abolished the distinction between a promise and a representation with respect to a future event. A promise to do something in the future is to be regarded as a representation that it will be performed. It will be deemed misleading, therefore, unless the corporation proves that it had reasonable grounds for making the promise.

It can thus be seen that s 51A was critical to his Honour's conclusions and it is by no means clear that he would have agreed with the general observations of the members of the majority as to the nature and effect of a [237] contractual promise for the purposes of s 52 except in so far as the operation of that section has been modified by the passing of s 51A. As all relevant legislation now contains the new section or an equivalent thereto, being s 10A of the *Fair Trading Act* of 1985 in Victoria, perhaps the differences are not as significant as they may appear, for the end result is that each of their Honours considered that certain contractual promises might give rise to a claim for misleading or deceptive conduct.

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No final view emerges for present purposes from *Wright v TNT Management Pty Ltd*, as the majority denied liability in respect of an alleged representation arising out of merely an imputed obligation. No member of the court, however, took a narrow view of the applicability of the *Trade Practices Act* to contractual promises.

A more cautious approach might appear in Lee J's judgment in the Federal Court in *Wheeler Grace and Pierucci Pty Ltd v Wright* 40-940 at 50,254 where his Honour made the following observations:

> Section 51A(1) has the effect of either stating the law as it stood prior to the amendment or extending it. Section 51A(3) makes it clear that the reference to a misleading representation is not to be taken to limit the meaning of misleading conduct. It is to be noted that s 51A(1) is concerned only with misrepresentations and not with the broader concept of conduct. It, therefore, has direct relevance to s 53, for example, but indirect operation upon s 52. The section provides that a representation with respect to any future matter "shall be taken to be misleading" if the corporation does not have reasonable grounds for making the representation. It does not deem such a representation to be misleading conduct. It provides that representations "shall be taken to be misleading" which indicates that there is a matter of judgment or decision remaining to be exercised as to the quality of the representation.

However his Honour thought that the appeal should be dismissed without the necessity to consider finally the operation and construction of s 51A. The other members of the court (Neaves and Burchett JJ) did not discuss the new section. Likewise in *Adelaide Petroleum NL v Poseidon Ltd*, a pleading summons, it was not necessary for French J to reach any conclusion as to its operation, his comments being confined to the possibility of giving particulars of a plea relying on the new section. His Honour, however, in the paper I have cited, makes detailed comments on its intended operation, not entirely inconsistent with the views to which I have referred of McHugh J and Kearney J. At p 260 of his article, he said:

> The requirement that the misleading character of a statement be determined at the time it is made may nevertheless be consistent with the proposition that leads its hearer to form a presently mistaken view of the future. Although it may be seen by some as an approach to the problem more at home in the general theory of relativity than in the law, it is not inconsistent with the way that the words "mislead" and "deceive" and related terms are applied in ordinary usage. The disappointed promisee may properly say "You misled me when you said you would do X". And if I predict rain tomorrow and it is fine I can quite reasonably be told — "your prediction was wrong." For both promises and predictions are statements about future events. If the represented events do not occur, it is arguable that the statements are wrong at the time they were made. On this view it [238] may take the passage of time to disclose that fact but an incorrect statement of future events always was and remains wrong.

The view so expressed was said by the author to depend on the proper interpretation of s 52 itself not upon s 51A. As to that he said (at 261):

> Every representation with respect to any future matter is thereby misleading unless there are reasonable grounds for making it at the time that it is made. The onus of showing the existence of such grounds lies on the representor. The fact that the representor intended to perform the promise or believe that the prediction will be fulfilled does not shift that burden.

Likewise Greig and Davis in their work on the *Law of Contract* take a broad view of the operation of s 52 and treat s 51A as merely altering the onus of proof: at 813. The learned authors contend (814–15):

> So too in the case of promissory statements, it is arguable that the necessary conduct can consist of both the initial promise and its subsequent breach. It will be recalled that the High Court (in the *Hornsby Building Centre* case (1978) 140 CLR 216 and *Parkdale v Puxu*

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> (1982) 149 CLR 191) had said that a contravention of s 52 is constituted by conduct which reasonably leads the applicant into error. If the respondent makes a contractual promise, the applicant may reasonably believe that it will be performed; when the promise is not performed, the applicant's belief is found to be erroneous, and it may fairly be said that the respondent's original promise, together with a subsequent repudiation thereof, is conduct which led the applicant into error. The essential question is the nature of the error into which the applicant has been led.

I find the latter observations difficult to follow, as I find the earlier comments in the paper by French J. If a promissory statement is to be the subject of complaint, it is also necessary to ask how did it amount to misleading or deceptive conduct. It is wrong to view every contractual obligation as an unqualified promise to perform the stipulated act. Indeed it is rare that a contractual promise is not in some way qualified by some reciprocal obligation to be performed by the promisee or by some other circumstance. If the promise induced the other party to enter into the agreement, as one can readily accept it would, then it is that promise and the circumstances then surrounding it which must be examined. The promise can only be said to be misleading or deceptive if it was in some way inaccurate; otherwise every mutual contractual promise will constitute misleading or deceptive conduct, a consequence which I cannot believe those who drafted the Act intended. If intention be relevant, the promise may be misleading if the promissor had no intention to fulfil it at the time it was made and accepted. If intention be irrelevant, then the promise may be misleading if the promisor had no ability to perform it at that time. If one were to go to the breach to determine whether there has been misleading or deceptive conduct, the breach may, but only *may*, provide some evidence from which one could infer that the promisor never intended or never had the ability to fulfil his obligation. Otherwise, if one combines promise and breach, the question must arise: in what way has the plaintiff been deceived or led into error? If it is said that he was misled into entering into the contract, then the breach is irrelevant, for that breach could have played no part in misleading him. If one moves to the later stage, it is possible that the two events might induce the other party to take some [239] further step, but the promisor's combined actions could not be characterised as misleading or deceptive at the time the promisee was induced to accept the promise because the breach had not occurred at that stage. In my opinion the mere acceptance of the promise by a promisee cannot ordinarily be characterised as being led into error. In the usual case the consequence would be that the promisee has enforceable rights. It is hard to believe that normally any promisee with ordinary contractual rights would then describe himself as having been deceived or misled. It is only when it becomes apparent that the promise cannot be enforced, because, for example, it is either unenforceable or the promisee's rights are valueless or diminished, that one may return to the original promise to inquire whether that promise was of so little substance that it can be concluded that the promisee was indeed misled or deceived in the first place, at the time of his acceptance of the promise. Thus it may then be seen that the promisor originally had no intention to perform his promise or that he originally had no capacity or ability to perform it. Now, however, by reason of s 10A (and s 51A) the inquiry is apparently broader for one must also inquire whether at the relevant time the promisor had reasonable grounds for making any implicit representation (where relevant) that he intended in the future to perform his contractual promise, and for this purpose the onus of proof is reversed. Nevertheless the section does not say in what circumstances a representation as to a future matter shall be implied from a contractual promise ….

The present issue as to promissory statements remains unresolved by authority, so far as I have been able to determine, some four years after s 51A was passed in the federal Parliament and three years after s 10A of the *Fair Trading Act* was passed in the State Parliament. No authority yet binds me to reach one conclusion or the other. I have expressed my doubts whether a contractual promise of itself carries with it any representation as to fact or conduct. *Wright v TNT Management Pty Ltd* suggests that it is only the imputed obligation which is excluded from the possible operation of s 52, although the logic of excluding obligations implied by law is not so obvious if all other terms are to be treated as implying a representation as to future conduct. It would seem on the authorities that,

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at the least, a contractual promise would amount to an implied representation that the promisor then had an intention to carry out that promise. If it can be shown that he had no such intention, he would be guilty of misleading or deceptive conduct. Likewise it would seem that such a representation connotes a present ability to fulfil that promise which, if shown to be untrue at the time of making, would likewise characterise the implied representation as misleading or deceptive.

[240] It is not easy to fit ss 51A and 10A into the scheme of each Act if the broader view should prevail. One of the principal difficulties is subs (3) in each case which says that subs (1) shall be deemed not to limit by implication the meaning of any reference in the Division to, inter alia, "conduct that is misleading or is likely … to mislead". One can understand that the section should not be treated as qualifying by implication the types of conduct which can be characterised as misleading or deceptive. It is another to say that the section does not show in what way a defendant can establish that a representation as to the future which is "taken to be misleading" does not amount to a contravention of s 52 or s 11, as the case may be; for subs (2), by negative implication, says that, if a person adduces evidence that he had "reasonable grounds for making the representation" as to future conduct, then the representation shall no longer be taken to be misleading. If those who maintain that implied promise plus breach are sufficient to constitute misleading conduct are correct, then the question whether the promisor had reasonable grounds for making the representation would be irrelevant. It would be sufficient, on that hypothesis, to show that the promisee was "led into error" by reason of the promise subsequently broken, regardless of the promisor's having reasonable grounds for making the representation. Thus, despite the apparently restrictive words of subs (3), the basis for holding that a promise amounts to misleading conduct must be that it carries with it an implication that the promisor had no reasonable grounds for making the representation, that is, the promise. If he overcomes the section's presumption against him, by proof to the contrary, then it follows that his representation and thus his conduct was not misleading, for present purposes. Otherwise each of the inserted sections would be pointless in so far as it purports to qualify, or expand, s 52 and s 11.

In my opinion, therefore, accepting that ss 51A and 10A each assumes that a promise may give rise to an implied representation that the promisor will perform an act in the future, namely the promised act, then the promisee is not, in proceedings under s 52 or 11, bound to show that the promisor had no intention or no ability to perform the promise at the time of its making. The promisor will be deemed *not* to have reasonable grounds for making the representation or promise, unless he satisfies the court by evidence to the contrary that he had reasonable grounds for making that representation. He may achieve this, in part, by showing that he had a genuine intention to perform his promise and that he had the ability at the time to perform it, but in the end he must show objectively that he had reasonable grounds for making the representation. For present purposes I am not prepared to accept that the plaintiff can make out its case by showing merely promise and breach. In my opinion, that evidence, on its own, is insufficient to show that the promisee was "led into error" unless the plaintiff can rely on s 10A or 51A. If there is no element of actual or deemed misrepresentation then the promisee can have been led into no error, nor can it be said to have been misled, by reason of some subsequent breach which causes it harm or loss. If the facts connote no error or misrepresentation, nothing thereby *led* it to take a course which was erroneous.

It follows from what has been said that I am not persuaded that one should treat every contractual promise as giving rise to an implied [241] representation of the kind referred to in s 10A and s 51A. However, I am persuaded that if there be an unconditional promise which forms part of the contractual obligations, then it is proper to treat the giving of that promise, at least in the ordinary case, as the making of a representation as to a future matter, being either the doing of an act or the refusing [sic] to do an act, being in each case the subject of the promise. Perhaps conditional promises may also be treated as the making of a representation as to future conduct, but in each case the qualified terms of the promise would usually lead to the conclusion that the maker had reasonable grounds therefor, unless it could be shown that under no circumstances would the promisor have fulfilled his promise. It is, however, not necessary to determine this latter point.

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In the present case the plaintiff by its statement of claim alleged that the making of the defendant's bid amounted to a representation that the bid was genuine and that he intended to be bound by the auction conditions. My earlier fact findings would deny the claim that the bid was not genuine at the moment it was made, but for the purposes of s 10A the allegation as to intention to be bound amounted in my opinion to a representation by Mr Gadzhis as to his future conduct. I say nothing as to the other conditions in the contract of sale, as they would depend on signature of that contract, but as to the obligation to sign the contract and pay the deposit, they are implicitly to be treated as the subject of a representation by the defendant that he intended to carry them out. Those obligations were effectively unconditional, certainly upon the knocking down of the property to the defendant. The only qualification might exist in the need for the vendor to submit a copy of the contract in proper form for him to sign, but there is no doubt that subject to the completion of name, address, price etc such an agreement was there in the theatrette to be signed. I am therefore prepared, in the light of my understanding of the intended operation of s 10A, to treat Mr Gadzhis as making a representation as to his future conduct, namely that he intended to sign that contract.

If that be correct, then the question arises whether Mr Gadzhis adduced evidence that he had reasonable grounds for making the representation, contrary to the allegation specifically made in the statement of claim. I have already found that at the time the property was knocked down to him he intended to buy the property and that he had no immediate purpose not to sign the contract. Is that sufficient to satisfy subs (2) of s 10A? An immediate difficulty arises in the sense that Mr Gadzhis did not himself "adduce evidence to the contrary". Indeed his version was that he never intended to be bound and that the vendor and Mr Sweet knew that, but that is a version I have rejected. In those circumstances it was not possible for the defendant to have a "fall-back" version to meet the allegation, but the question arises whether the court is entitled, on the whole of the evidence, to reach an affirmative conclusion at the relevant time he had reasonable grounds for his implied representation.

Certainly Mr Gadzhis was a successful investor in property. He may not have had his cheque book at the auction, but that would be a difficulty easily overcome in the circumstances if he had wished to pay. Moreover, at the time of the bid and at the time it was accepted, he intended, as I have found, to purchase the property. Although he later changed his mind because he wished to negotiate the terms of the sale, I have no reason to believe that he could not have fulfilled the required obligations. It must, however, be said [242] that no evidence was led as to this matter of his ability to pay the full consideration within 90 days of the sale as laid down in the contract conditions announced at the auction. Moreover, para 24 of his amended defence, the defendant admitted that "he did not believe … that the defendant would comply with the auction conditions by paying the deposit and signing the contract of sale." In these circumstances I cannot be satisfied, even if I were to look at the whole of the evidence, that Mr Gadzhis had reasonable grounds for making the implied representation. As he has failed to adduce evidence to the contrary, taking those words in their broadest sense, he is deemed by subs (2) of s 10A not to have reasonable grounds for making the representation and thus by subs (1) must be taken to have been misleading.

Nevertheless, what follows from his finding of misleading conduct is not obvious. The primary contention of the defendant was that the plaintiff had not relied on this misleading conduct. For present purpose I must accept that reliance is critical to the making out of the case under the *Fair Trading Act* ….

It is perhaps implicit rather than explicit that the need for reliance relates to the availability of any remedy to the person misled or deceived rather than to the fact of contravention. The conduct proscribed by s 11 (and s 52) includes conduct that is misleading or deceptive but also that which is *likely* to mislead or deceive …

The defendant argued that the plaintiff had in no way relied upon the implicit representation contained in the bid. It pointed to the fact that immediately after the auction was completed Mr Gadzhis indicated clearly his intention not to sign the auction contract. Thereafter it was fully

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aware of his position and of the fact that it had no written memorandum by which to enforce the agreement against him. However, I think the correct analysis is that in relation to the representation pleaded, namely a representation contained in the bid itself that he intended to be bound by the auction conditions and thus impliedly represented that he would sign the contract, there was reliance by the plaintiff on his acts. For this purpose the auctioneer was the vendor's agent and although the allegation that he sought no further bids was wrong, he certainly acted upon the assumption that Mr Gadzhis intended to make a genuine bid and thereby was led to announce that the property was on the market and thereafter to knock it down to Mr Gadzhis. To that extent the vendor by its agent relied on the implicit representation that he would sign the contract once his bid was accepted. Thereafter, however, I see no basis for saying that the plaintiff relied upon the defendant's misleading conduct, for it was fully aware within a few minutes of the end of the auction that the defendant was no longer representing expressly or impliedly that he intended to sign the contract of sale. Its actions from that time were not carried out in reliance upon any representation of the defendant but only in reliance on its own assessment of its legal rights.

Thus it follows that there was some reliance by the plaintiff on the defendant's implied representation to this limited extent, limited in that it related to the offer, by way of bid, but not to the contractual promise implicit in its acceptance. To this I would add the rider that it could also be said that the auctioneers caused the theatrette to be cleared of the audience who had attended the auction. If there had been the slightest evidence that anyone present would have bid if the auction had been recommenced, that may have had some significance, but it is clear that every bid was either false or invented or made by or on behalf of Mr Gadzhis. The tenants made no bid, as had been hoped, and indeed any other bid below $2.25 million would not have been accepted. Moreover, the plaintiff's auctioneer chose to clear the theatrette and did not wait the required 20 minutes, after which the vendor would have had the right to resubmit the property for sale. Further there is no evidence that the plaintiff believed that the defendant would [244] waive its legal rights under the *Instruments Act* or that it was induced to act on the assumption that those rights would not be relied upon.

What follows from this finding of reliance, limited as it is? The plaintiff claimed that it was entitled to an order for specific performance of the promise contained in the bid as a remedy to which it was entitled pursuant to s 41 of the *Fair Trading Act*. By its counsel it specifically abandoned any claim for damages, except in so far as they might be claimed in lieu of specific performance, if it should eventuate that that remedy should be refused only on discretionary grounds.

Thus the plaintiff sought in respect of this misleading conduct that it should have a remedy by enforcing the promise which gave rise to the implied representation. There lay its difficulties, for it appears that this kind of legislation is primarily directed to compensating a party by reason of the fact that he has been misled or deceived. Thus in the leading case on damages under the *Trade Practices Act*, the High Court said the appropriate measure of damages in this type of case, at least, was reliance loss, not expectation loss; in other words the plaintiff is not normally allowed to claim for loss of his bargain: *Gates v City Mutual Life Assurance Society Ltd* (1986) ATPR 40-666; (1986) 160 CLR 1 …

The disappointed expectations of a person induced by misrepresentation to believe erroneously that his insurance policy entitles him to the payment of benefits on maturity or on the happening of a certain event are sometimes so great as to encourage the thought that compensation on the basis of lost expectations would be appropriate. However, neither authority nor principle offer support for adopting this approach. In all the cases in which a plaintiff has sought to recover damages on the footing that a representation amounts to a collateral contract, a fraudulent misrepresentation or a negligent misstatement, damages for expectation loss have only been awarded where the representation amounted to a collateral contract. Neither the fact that the representation induces entry into a contract nor the fact that it is a statement of the benefits to which the plaintiff will be entitled under that contract is enough to justify compensation for expectation loss.

It follows that under both the *Trade Practices Act* and the *Fair Trading Act* the remedies are designed to compensate for misleading or deception, not as a substitute means of enforcing promises. By

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looking at the error into which the plaintiff has been led and enquiring what is needed to remedy the loss flowing from that error one may determine the form of orders, wide though they may be, which will be appropriate to compensate that loss.

[245] Here the deception led to the knocking down of the property to Mr Gadzhis and the conclusion of the auction, but nothing more. If it could be shown that the error into which the plaintiff's auctioneer had been led had resulted in the loss of a sale to a genuine bidder, then all available remedies would have been appropriate to compensate the plaintiff. Of course, the obvious remedy in those circumstances would be damages, but rescission is a common remedy if a plaintiff desires to extract himself from a contract or other transaction into which he has been misled, so as to deal freely with the subject matter of the dispute. Here such a remedy is quite inappropriate as no enforceable contract arose, and the plaintiff was free to sell, and knew or should have known that it was free to sell within a few minutes of the auction. Thus it is clear from what occurred at the auction that there was no available alternative purchaser willing to bid. Even if there had been, the plaintiff had available to it a clause (the 20 minutes clause) of which it or at least its auctioneer was well aware, which would have enabled the auction soon to be restarted; so it might be argued that the plaintiff failed thereby to mitigate its loss. Once the defendant made his position clear, the plaintiff had been free to sell if any other purchaser had wished to buy. Because the plaintiff chose to commence and persist in the present action, it has only itself to blame if some offer could have been obtained but was not accepted; again it could be said that thereby it failed to mitigate its loss. No question as to mitigation in fact arose in argument, for damages were not pursued, but these matters show how limited is the harm flowing from the alleged representation. For all practical purposes the error caused by the representation was quickly dispelled and the plaintiff was not thereby entrapped by any obligation from which it was necessary to free itself. Essentially the remedies provided by the *Fair Trading Act*, especially those in s 41, are there to restore those affected by misleading or deceptive conduct to the position in which they were before any contravention of the Act take place.

There is thus, as counsel conceded, no relevant loss incurred or damage suffered in the present case, unless the plaintiff could have enforced the inchoate agreement or be compensated for its loss of bargain. The plaintiff is in law, and has been since a few minutes after the conclusion of the auction, in exactly the same position as it was immediately before the auction commenced and the short delay before the defendant made his position clear did not lead to any other loss. There is not even any suggestion that the cost of the auction was thrown away, for indeed there otherwise would have been no purchaser and the same expenditure incurred. No authority was cited for the proposition that specific performance of the promise could be obtained and the only relevant authority (under the *Trade Practices Act*) *Milchas Investments Pty Ltd v Larkin* (1989) ATPR 40-956, esp at 50,441, suggests the contrary. I am not persuaded that there is power to make an order that a promise, especially a promise of this kind, should be specifically performed. Certainly it is not here appropriate to make such an order. It should be remembered that the powers under s 41 may be exercised only if the court considers that the order "will compensate the (plaintiff) in whole or in part for the loss or damage or will prevent or reduce the loss or damage". As the relevant loss or damage is confined in the manner I have suggested above, so an order [246] akin to an order for specific performance would not appropriately compensate for that loss, but would give a different and wider remedy, not contemplated by the Act.

For these reasons the plaintiff's claim under the *Fair Trading Act* should be dismissed.

Judgment for the defendant.

Statements of opinions, belief and law

[33.160] The fact that a statement is expressed as an opinion does not prevent it from being a form of misleading conduct. However, an opinion cannot be characterised as misleading simply because subsequent events show that the opinion was incorrect.

Before the introduction of a statutory prohibition against misleading or deceptive conduct, statements of opinion, belief or law were actionable under the common law doctrine of misrepresentation (see Chapter 32), even though the doctrine only applied to representations of fact. The courts overcame this limitation by finding representations of fact implicit in the making of the statement. For example, if I stated that an agreement was contractually binding (a statement of law), I would be viewed as impliedly representing that I genuinely believed the agreement in question to be contractual and that there was a reasonable basis for my opinion, perhaps I have a legal qualification or have received legal advice on the matter.

Global Sportsman Pty Ltd v Mirror Newspapers Pty Ltd (1984) 2 FCR 82, 88 provides an example of the courts employing the common law approach to determine whether the statutory prohibition against misleading conduct had been breached. The Full Federal Court set out the principles that apply when determining whether the giving of an opinion is misleading:

> An expression of opinion which is identifiable as such conveys no more than that the opinion expressed is held and perhaps that there is a basis for the opinion. At least if those conditions are met, an expression of opinion, however erroneous, misrepresents nothing.

Courts have also analysed statements of belief by deriving implied statements of fact that the statement of belief was genuine and had a reasonable foundation at the time it was made. In *Havyn Pty Ltd v Webster* [2005] NSWCA 182, the purchaser of a block of six flats alleged that a statement in a brochure that each flat was approximately 63 square metres in area was misleading because it overstated the average size of the flats by approximately 5 per cent. The statement was analysed as a statement of belief. The real estate agent arrived at the estimation in question by "pacing out" one of the units. As the method of estimation was so crude, it was held that there was no adequate foundation upon which the real estate agent could have had a rational belief that each flat was approximately 63 square metres in area. The statement of belief was therefore held to be misleading.

A misstatement of law may constitute misleading conduct. The courts again tend to focus on statements implied by the making of the statement. The expertise or the knowledge of the person making the statement will be relevant to determining whether a misstatement of law constitutes misleading or deceptive conduct. In *Inn Leisure Industries Pty Ltd v DF McCloy Pty Ltd* (1991) 28 FCR 151, the purchaser of a boating launch told the vendor erroneously that its intended use of the launch for game fishing attracted an exemption from sales tax. An audit by the Australian Tax Office resulted in the vendor being obliged to pay tax and a penalty. The vendor sought to recover the amounts paid on the basis that the purchaser's statement was misleading or deceptive. In the course of his judgment, French J said (at 167):

> A representation of law may be made in different ways which send different messages to the recipient. It may do no more than convey what is, on the face of it, the untutored opinion of the representor. As such it would be unlikely, if wrong, to constitute misleading or deceptive conduct … Expert advice as to the law may convey the representation that it is based upon an underlying body of knowledge, experience or expertise possessed by the person proffering it or to which that person has access. The situations in which advice, expert or otherwise, as to

> the law may be misleading or deceptive for the purposes of s 52 [now ACL, s 18] will depend upon the context and circumstances in which it is proffered and the representations implied or expressed that accompany it.

French J held that the purchaser had done no more than express an inexpert opinion. Although the opinion was incorrect, the conduct was not misleading. The purchaser gave evidence that its statement was based on advice it received from its accountants. There was nothing to suggest that the opinion was not honestly held or that the advice had not been given. Therefore, although the opinion turned out to be inaccurate, the conduct was held not to breach the prohibition against misleading or deceptive conduct.

In *Forrest v Australian Securities and Investments Commission* [2012] HCA 39; (2012) 247 CLR 486 (at [33.162]) French CJ, Gummow, Hayne and Kiefel JJ were critical of classifying and analysing statements of the kind under discussion according to some preordained taxonomy. Instead, the court suggested that the analysis should be more closely focussed on what the impugned statements conveyed to their audience.

Forrest v ASIC

[33.162] *Forrest v Australian Securities and Investments Commission* [2012] HCA 39; (2012) 247 CLR 486 (High Court of Australia) – Appeal from the Full Court of the Federal Court.

[FACTS: The Australian Securities and Investments Commission (ASIC) alleged that Fortescue Metals Group Ltd breached s 1041H of the *Corporations Act 2001* (Cth). Section 1041H prohibits misleading and deceptive conduct in relation to financial products or services. Mr Forrest, the first appellant, was Fortescue's chairman and chief executive. He was said to be knowingly involved in the breach. ASIC identified 13 different communications said to have involved contravention of s 1041H. However ASIC's case was treated in argument as sufficiently identified by reference only to Fortescue's letter to the Australian Stock Exchange (ASX) and a media release, both sent on 23 August 2004. The media release and letter in question announced that Fortescue had entered into "binding contracts" with the Chinese Railway Engineering Corporation (CREC) to build and finance the railway component of one of Fortescue's proposed mining projects. The statements also contained a summary of what had been agreed. The agreements in fact lacked the requisite degree of certainty to be binding in law. They did not provide for the subject matter, scheduling or price for the works to be done, nor a mechanism to determining such matters. ASIC alleged that communications in question represented a false statement of fact, namely that binding, legal contracts were in existence at the time the statements were made. ASIC also pleaded that Fortescue had implicitly, but still falsely, represented it had a "genuine and reasonable basis" for making the statement. ASIC explained the inclusion of this argument in its pleadings as a pre-emptive strike against an argument it believed the appellants may make, namely that the statements in question were statements of opinion. On the approach prevailing at the time, if the statement were to be treated as an opinion, whether the giving of the opinion amounted to misleading conduct would be determined by considering whether Fortescue had a genuine or reasonable basis for making the statement.

Fortescue and Mr Forrest lost at first instance as the trial judge found that Fortescue had neither a genuine or reasonable basis for making the claim that the contracts were binding. Fortescue was successful on appeal to the Full Court of the Federal Court of Australia who refused to find that the genuine and reasonable basis findings resolved the issue. Fortescue and Mr Forrest appealed to the High Court].

FRENCH CJ, GUMMOW, HAYNE AND KIEFEL JJ:

[8] These reasons will demonstrate that the impugned statements were not misleading or deceptive or likely to mislead or deceive …

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ASIC's claims

[20] Although there were variations in the way in which ASIC pleaded its case in respect of each of the 13 communications which it alleged were misleading or deceptive, there were important common elements. Having identified the relevant communication, ASIC pleaded in respect of each communication that (in the circumstances in which those communications were made "and against the background" of certain matters ASIC identified as information previously made available to the market or more generally) Fortescue "represented to, further or alternatively, created the impression for, reasonable investors in the ASX's financial market and persons obtaining access to [Fortescue's] website" that:

(a) Fortescue "had entered a binding contract" with CREC, CHEC or CMCC "obliging" that company to build and finance the relevant elements of infrastructure, and

(b) that Fortescue "had a genuine and reasonable basis for making" the relevant statement …

[24] ASIC sought to explain and justify the inclusion in its statement of claim of a plea that Fortescue had no genuine or reasonable basis for making the statements as a plea that anticipated Fortescue alleging that the impugned statements were expressions of opinion not fact. But it was neither necessary nor appropriate for ASIC to attempt to use its statement of claim to meet an answer that had not been made …

A "binding contract"

[32] Three possibilities must be considered: first, that the statements conveyed a message about what the agreements said; second, that they conveyed some message about "legal enforceability"; and third, that they conveyed a message which was a mixture of elements drawn from the first two possible constructions of what was said. It is the first possibility that is decisive of these appeals: the statements conveyed to their intended audience what the parties to the framework agreements had done and said they had done.

[33] As has already been noted, ASIC's argument in this Court hinged on the proposition that the impugned statements conveyed to their intended audience a view about the legal enforceability of the framework agreements. ASIC sought to describe what was conveyed as a matter of fact, submitting that "the words 'agreement' or 'binding agreement' convey that it is an agreement containing all of the essential elements that would constitute a contract under Australian law". While it is to be doubted that the proposition which ASIC identified is accurately, or at least sufficiently, described as a statement of "fact", it is ultimately unprofitable to attempt to classify the statement according to some taxonomy, no matter whether that taxonomy adopts as its relevant classes fact and opinion, fact and law, or some mixture of these classes. It is necessary instead to examine more closely and identify more precisely what it is that the impugned statements conveyed to their audience.

[34] It is convenient to begin that examination by noticing how the Full Court dealt with the issue. The Full Court concluded, first, that the impugned statements would have been understood as conveying the historical fact that agreements containing terms accurately summarised in the announcements had been made between the parties. Second, regardless of the subjective intentions of the parties, the question of whether the parties had made contracts of the kinds described was to be determined by taking an objective view of the agreements. Third, objectively assessed, the agreements would be held by an Australian court to be incomplete, because they did not provide for the subject matter, scheduling and price of the work to be done or any mechanism for determining those matters. And fourth, because the Full Court concluded that the agreements were incomplete in these respects, it was misleading or deceptive, or likely to mislead or deceive, to describe them each as a "binding contract".

[35] The critical step taken by the Full Court was from the first to the second. The Full Court did *not* conclude that the impugned statements had not accurately summarised what the framework agreements said. Rather, the Full Court moved from the identification of what the impugned statements conveyed about what had been said and done by the parties (properly described as

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matters of "historical fact") to an examination of the *legal* consequences that were to be attached to what those parties had said and done. The Full Court took this step on the basis that the examination of that question was necessary in order to decide whether what was said and done amounted to the making of "contracts". That is, the Full Court treated the references in the impugned statements to the parties having made a "binding contract" as conveying more than the message that the parties had made an agreement which *they* described as a "binding contract". Importantly, the Full Court treated the references to "binding contract" as conveying *more* than the message that the parties had made an agreement which the commercial community (or some relevant section or sections of it, such as "investors") would describe in the terms Fortescue had used in its statements. And critically, the Full Court assumed that the impugned statements conveyed the message to the intended audience that the parties had made what an *Australian* court would decide to be a binding contract. That is, the Full Court found, in effect, that it would be (and in this case was) misleading or deceptive or likely to mislead or deceive to say that the parties to the framework agreements had made "binding contracts" unless the parties had made bargains that could be and would be enforced by action in an Australian court.

[36] There are at least two difficulties in the Full Court's analysis. Both stem, ultimately, from the need to identify the intended audience for the impugned statements and the message or messages conveyed to that audience. The intended audience can be sufficiently identified as investors (both present and possible future investors) and, perhaps, as some wider section of the commercial or business community. It is not necessary to identify the audience more precisely. When that audience was told that Fortescue had made binding contracts with identified Chinese state owned entities, what would they have understood?

[37] Would they, as the Full Court assumed, ask a lawyer's question and look not only to what the parties had said and done but also to what could or would happen in a court if the parties to the agreement fell out at some future time? Or would they take what was said as a statement of what the parties to the agreements understood that they had done and *intended* would happen in the future? The latter understanding is to be preferred.

[38] The Full Court's conclusion hinged on the use of the word "contract" or "agreement" in each of the impugned statements. The Full Court assumed that, by using one or other of those terms, the impugned statements conveyed to their intended audience a message about the *legal* quality (as determined by reference to *Australian* law) of the contract or agreement referred to in the relevant communication. And the relevant *legal* quality was identified as future enforceability in the event of a dispute between the parties. That is, the Full Court assumed that the words "contract" and "agreement" necessarily conveyed a message about legal enforceability in an Australian court. But that is too broad a proposition. First, it is necessary to examine the whole of the impugned statements to see the context in which reference was made to the making of a contract or agreement. Second, it is necessary to undertake that task without assuming that what is said must be put either into a box marked "fact" (identified according to whether an Australian court would enforce the agreement) or into a box marked "opinion" (identified according to whether the speaker *thought* that an Australian court could or would enforce the agreement).

[39] There was no evidence led at trial to show that investors or other members of the business or commercial community (whether in Australia or elsewhere) would have understood the references in the impugned statements to a "binding contract" as conveying not only that the parties had agreed upon what they *said* was a bargain intended to be binding, but also that a court (whether in Australia or elsewhere) would grant relief of some kind or another to one of the parties if, in the future, the opposite party would not carry out its part of the bargain.

[40] The very words of the impugned statements made two points abundantly clear. First, there can be no doubt that the impugned statements conveyed to their intended audience that the parties had made agreements. Second, there can be no doubt that the impugned statements conveyed what the parties to the framework agreements had said in those agreements. And the provisions of the

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framework agreements showed (and ASIC expressly accepted at trial) that the parties intended their agreements to be legally binding …

[41] ASIC submitted that, despite the parties' stated intention to make a legally binding contract, it was misleading or deceptive or likely to mislead or deceive to announce to investors, or some wider business or commercial audience, that the parties had made a contract (or binding contract) unless the agreement they had made would withstand legal challenge in an Australian court …

[43] Once it is accepted, as it must be, that the parties genuinely intended to make a legally binding agreement, the breadth of ASIC's submission (and the Full Court's conclusion) becomes apparent. For the submission was that, although the impugned statements accurately recorded that the parties to each framework agreement had made an agreement which said that the bargain was, and was intended by the parties to be, legally binding, the impugned statements were misleading or deceptive or likely to mislead or deceive because they also conveyed to their intended audience a larger message. This was that the agreements the parties had made were not open to legal challenge in an Australian court. That broader proposition should not be accepted. The impugned statements conveyed to their intended audience what the parties to the framework agreements had done and said they had done. No further message was shown to have been conveyed to an "ordinary or reasonable" member of that audience …

[45] The intended audience for the impugned statements would have recognised from the very content of the statements that the agreements to which they referred had important international features. Although it may readily be assumed that many, perhaps most, in that audience had some immediate association with Australia or the Australian share market, it by no means follows that such an audience would have understood the impugned statements as inviting any attention to what the courts of Australia could or would do if a party to one of the agreements did not perform its part of the bargain …

[47] Both the place of the signing ceremonies and the status of Fortescue's counter parties as state owned entities point to the real and lively possibility that the formal and essential validity of the agreements might be governed by the law of the People's Republic of China, not Australia. It would have been neither extreme nor fanciful for those who read or heard the impugned statements either to consider the possibility or even to assume that the law of the People's Republic of China governed the agreements. And regardless of whether questions about the validity of the framework agreements were governed by the law of Australia, there was an immediate question of the manner and extent of enforceability presented by the fact that Fortescue's counter parties were state owned enterprises. In Australia that question would be governed by the *Foreign States Immunities Act 1985* (Cth), but no attempt was made by any party to explore whether there may have been some relevant and applicable Chinese law.

[48] It is, however, necessary to bear firmly in mind that the impugned statements were made to the business and commercial community. What would *that* audience make of the statement that Fortescue had made a binding contract with an entity owned and controlled by the People's Republic of China?

[49] It is surely relevant to ask whether the public expression of acceptance by such a state owned entity of what were described as "binding" obligations may not have been a much more powerful spur to performance of its obligations than any possible legal action instituted by Fortescue. Again, for that audience to form such an understanding would be far from "extreme or fanciful" (*Campomar* (2000) 202 CLR 45 at 86-87 [105]). But these issues were not explored, because the Full Court and ASIC incorrectly assumed, rather than demonstrated, that an inquiry into the "effect" of the agreements required an inquiry into their legal effect under Australian law …

[60] Having regard to the way in which ASIC presented its argument in this Court, it is not necessary to consider separately the other impugned statements to which ASIC referred in its statement of claim. It is also unnecessary to give separate consideration to the "likely to mislead or deceive" limb of s 1041H. In

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the Full Court, Emmett J expressly based his reasons on this ground. His Honour concluded [(2011) 190 FCR 364 at 430 [215]] that the statements "were, at least, likely to mislead or deceive an ordinary and reasonable member of the investing public who read the [impugned statements]". But the inquiry into how an ordinary or reasonable member of the intended audience would receive a message is of its nature hypothetical. That inquiry is therefore apt to answer both whether conduct is misleading or deceptive and whether it is *likely* to mislead or deceive. Separate consideration of this limb of s 1041H is therefore not necessary once it is decided that an ordinary or reasonable member of the audience would not have understood the impugned statements to have conveyed anything other than what the parties did and intended, and that the statement made about those matters was neither misleading nor deceptive.

ASIC did not establish that Fortescue engaged in misleading or deceptive conduct contrary to s 1041H of the *Corporations Act*.

Appeal allowed.

[HEYDON J gave a separate judgment, also allowing the appeal.]

REMEDIES UNDER STATUTES

[33.165] A range of remedies are available for breach of s 18 of the ACL. The same remedies are available to remedy unconscionable conduct in breach of ss 20, 21 and 22 (see Chapter 38). Under s 236 a person who has suffered loss as a result of a contravention is entitled to damages to compensate him or her for that loss. Under s 237 the court is given power to grant any other orders it thinks fit to prevent loss that has been suffered or is likely to be suffered as a result of a contravention. Section 243 sets out a non-exhaustive list of the types of orders that can be made under s 237. Included on the list are declarations that a contract is void, or is to be varied, or that a person should refund money or return property.

In order to be entitled to a remedy under s 236 or s 237 for misleading or deceptive conduct, it is necessary to establish:

1. that there has been a breach of s 18 (see [33.05]–[33.160]);
2. that "loss or damage" has been (or is likely to be) suffered (see [33.170]–[33.260]); and
3. that there is a causal connection between the "loss or damage" suffered or likely to be suffered and the breach (see [33.265]–[33.290]).

Damages under s 236

[33.170] Section 236(1) of the ACL provides as follows:

> If
>
> (a) a person (the *claimant*) suffers loss or damage because of the conduct of another person; and
>
> (b) the conduct contravened a provision of Chapter 2 or 3;
>
> the claimant may recover the amount of the loss or damage by action against that other person, or against any person involved in the contravention.

Section 18 is found in Ch 2 of the ACL. Chapter 2 also contains the provisions which prohibit unconscionable conduct (see Chapter 38). The phrase "involved in a contravention" is defined

by s 2(1) to include persons who have aided or abetted, or have been knowingly concerned in, a contravention.

In order to determine whether or not the claimant is entitled to damages under s 236, it is necessary to determine whether the claimant has suffered "loss or damage" within the meaning of the provision. In most cases, the requisite causal connection is established by showing that the claimant suffered loss because he or she acted or failed to act in reliance on the misleading conduct. Where the causal connection is established in this way, "loss or damage" is often calculated on a reliance basis by drawing analogies with damages that would have been available in an action for deceit or negligent misstatement (see *Gates v City Mutual Life Assurance Society Ltd* (1986) 160 CLR 1, 11 (at [33.180])). However, the causal link may be established despite the fact that the claimant has not relied on the respondent's conduct. For example, where the respondent makes an untrue statement about the applicant's products which results in the applicant losing sales, the applicant's "loss or damage" will be determined by reference to the consequent loss of profits (see eg *Janssen-Gilag Pty Limited v Pfizer Pty Limited* (1992) 37 FCR 526, 529). Furthermore, the decision in *Murphy v Overton Investments Pty Ltd* [2004] HCA 3; (2004) 216 CLR 388 (at [33.200]) demonstrates that in certain circumstances, the court may well be prepared to recognise expectation loss as a compensable form of loss under s 236.

Tort analogy

[33.175] The "amount of the loss or damage" caused by a contravention of s 18 will often coincide with the compensatory damages typically awarded for as compensatory damages in an action at common law for deceit or negligent misstatement. A person induced by deceit to purchase a business will receive as common law damages the difference (if any) between the price paid and the fair or real value of the business, plus an amount for loss consequential on running an unprofitable business (if any), provided such loss is reasonably mitigated. The application of this measure under s 236, as at common law, means that in some cases, no damages will be awarded even though there has been a finding that misleading or deceptive conduct has been engaged in. The following case is illustrative.

Gates v City Mutual Life Assurance Society

[33.180] *Gates v City Mutual Life Assurance Society Ltd* (1986) 160 CLR 1 (High Court of Australia) – Appeal from the Federal Court, Full Court.

[FACTS: Mr Gates (the *appellant*) alleged that before he applied for a total disability clause to be added to his two existing life policies with City Mutual Life Assurance Society (CML, the *respondent*), Mr Rainbird, the agent of the respondent, assured him that the policy benefits would apply if he could not attend to his occupation for 90 days. In fact the clause added to each policy denied benefits to the appellant if he was able to attend to *any* gainful occupation, not just *his* occupation. The appellant sustained injury and could not attend to his occupation as a builder for 90 days. The respondent refused to pay the policy benefits, on the basis that the conditions of the disability clause were not satisfied.

The appellant brought proceedings in the Federal Court. His case was that the respondent was liable in damages because it was bound by the assurance given by Mr Rainbird and the assurance amounted to: (1) a collateral contract; (2) misleading or deceptive conduct within s 52 of the *Trade Practices Act 1974* (TPA) [now ACL, s 18]; and (3) a false statement within s 53(g) of the same Act [now ACL, s 29(m)]. The trial judge (Ellicott J) concluded that the agent's assurance amounted to

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misleading or deceptive conduct and a false statement within the relevant provisions of the Act as well as to a collateral contract. The appellant was entitled to payment by the respondent of the amounts payable under the policies as damages for breach of contract: $66,003. No damages were awarded for contraventions of the TPA because the judge considered that in most, if not all, claims for damages for conduct breaching ss 52 and 53 the measure of damages was that applicable in tort. On this footing, the appellant was entitled to the difference between the value of what he paid and had to pay by way of premiums and the value of the total disability clause in the relevant policies. There being no evidence that the cover was not worth what he paid for it – $2.09 per month on a $20,000 policy – the appellant was not entitled to damages on this score. An alternative method of compensating the appellant was to rescind the policies and to direct a refund of the premiums paid, but the appellant did not claim compensation on this basis. Instead, he claimed the benefits that were payable according to the representations made by Mr Rainbird. This was held to be the measure of damages appropriate to breach of contract, not to breach of ss 52 and 53(g).

The Full Court of the Federal Court (Fox, Lockhart and Fitzgerald JJ), to which each party appealed, concluded that the assurance given by Mr Rainbird was not contractual in character, that therefore the award of damages for breach of contract could not be sustained and that Ellicott J was correct in refusing to award damages for the contraventions of ss 52 and 53(g). The Full Court accordingly allowed the respondent's appeal. The appellant appealed to the High Court.]

MASON, WILSON AND DAWSON JJ: [11] Mr Rainbird's assurance … was not contractual in character and in any event effect could not be given to it as a promise because it was inconsistent with the main contracts: *Hoyt's Pty Ltd v Spencer* (1919) 27 CLR 133 at 139, 147–8; *Cutts v Buckley* (1933) 49 CLR 189 at 201; *Maybury v Atlantic Union Oil Co Ltd* (1953) 89 CLR 507 at 518 …

The Act does not prescribe the measure of damages recoverable by a plaintiff for contravention of the provisions of Pts IV and V. Accordingly, it is for the courts to determine what is the appropriate measure of damages recoverable by a plaintiff who suffers loss or damage by conduct done in contravention of the relevant provisions. Two established measures of damages, those applicable in contract and tort respectively, compete for acceptance. In contract, damages are awarded with the object of placing the plaintiff in the [12] position in which he would have been had the contract been performed – he is entitled to damages for loss of bargain (expectation loss) and damage suffered, including expenditure incurred, in reliance on the contract (reliance loss). In tort, on the other hand, damages are awarded with the object of placing the plaintiff in the position in which he would have been had the tort not been committed (similar to reliance loss).

The differences and the similarities between the two approaches are best illustrated by contrasting the damages recoverable for breach of contractual warranty on a purchase of goods with those recoverable for a fraudulent misrepresentation inducing entry into a contract for the purchase of goods on the assumption that the contracts are identical except that in one case the representation amounts to a warranty and in the other it is merely a non-contractual representation. For breach of warranty the plaintiff is prima facie entitled to recover the difference between the real value of the goods and the value of the goods as warranted. In deceit the measure of damages is the difference at the time of purchase between the real value of the goods, and the price paid: *Potts v Miller* (1940) 64 CLR 282 at 289, 297; *Toteff v Antonas* (1952) 87 CLR 647 at 650–1, 654; *Gould v Vaggelas* (1984) 58 ALJR 560 at 561; 56 ALR 31 at 34. But this has been treated as a prima facie measure only, the true measure being reflected in the proposition stated by Dixon J in *Toteff v Antonas* (at 650) in these terms: "In an action of deceit a plaintiff is entitled to recover as damages a sum representing the prejudice or disadvantage he has suffered in consequence of his altering his position under the inducement of the fraudulent misrepresentations made by the defendant."

As his Honour then pointed out, it is a question of determining how much worse off the plaintiff is as a result of entering into the transaction which the representation induced him to enter than he

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would have been had the transaction not taken place. This entitles the plaintiff to all the consequential loss directly flowing from his reliance on the representation (*Potts v Miller* at 297–8; *Doyle v Olby (Ironmongers) Ltd* [1969] 2 QB 158), at least if the loss is foreseeable: see *Gould v Vaggelas* at 563; 37 …

[13] Because the object of damages in tort is to place the plaintiff in the position in which he would have been but for the commission of the tort, it is necessary to determine what the plaintiff would have done had he not relied on the representation. If that reliance has deprived him of the opportunity of entering into a different contract for the purchase of goods on which he would have made a profit then he may recover that profit on the footing that it is part of the loss which he has suffered in consequence of altering his position under the inducement of the representation. This may well be so if the plaintiff can establish that he could and would have entered into the different contract and that it would have yielded the benefit claimed: compare *Esso Petroleum Co Ltd v Mardon* [1976] QB 801 at 820–1, 828–9; *Doyle v Olby (Ironmongers) Ltd* at 167. The lost benefit is referable to opportunities foregone by reason of reliance on the misrepresentation. In this respect the measure of damages in tort begins to resemble the expectation element in the measure of damages in contract save that it is for the plaintiff to establish that he could and would have entered into the different contract.

So in the present case if the appellant were able to establish that, but for his reliance on Mr Rainbird's representation, he could and would have entered into policies of insurance containing a disability clause of the kind represented by Mr Rainbird, he might then succeed in obtaining an award of damages equal to the benefits which would have been payable under such policies less the premiums paid or payable in respect of them.

Unfortunately for the appellant the evidence does not support this basis for an award of damages. First, it was Mr Rainbird who [14] persuaded the appellant to take out disability insurance. There is nothing to suggest that the appellant would have been minded to obtain insurance of this type had it not been for Mr Rainbird arousing his interest in it. Likewise, there is nothing to suggest that, had he known that the respondent did not offer disability insurance on the terms suggested by Mr Rainbird, he would have sought out some opportunity of taking out the insurance with another company. There was no evidence from the appellant that this is what he would have done. And, as we have already pointed out, there was no evidence that another company at that time offered disability insurance on those or similar terms ….

The question then is whether it is appropriate to apply the contract measure of damages to the contraventions found to have taken place. The courts are not bound to make a definitive choice between the two measures of damages so that one applies to all contraventions to the exclusion of the other. However, there is much to be said for the view that the measure of damages in tort is appropriate in most, if not all, Pt V cases, especially those involving misleading or deceptive conduct and the making of false statements. Such conduct is similar both in character and effect to tortious conduct, particularly fraudulent misrepresentation and negligent misstatement.

The disappointed expectations of a person induced by a misrepresentation to believe erroneously that his insurance policy entitles [15] him to the payment of benefits on maturity or on the happening of a certain event are sometimes so great as to encourage the thought that compensation on the basis of lost expectations would be appropriate. However, neither authority nor principle offer support for adopting this approach. In all the cases in which a plaintiff has sought to recover damages on the footing that a representation amounts to a collateral contract, a fraudulent misrepresentation or a negligent misstatement, damages for expectation loss have only been awarded when the representation amounted to a collateral contract. Neither the fact that the representation induces entry into a contract nor the fact that it is a statement of the benefits to which the plaintiff will be entitled under that contract is enough to justify compensation for expectation loss. Just as it is impossible to suppose that there is any difference in the measure of damages in deceit depending upon the nature of the contract into which the plaintiff is induced to enter (*Clark v Urquhart* [1930]

Gates v City Mutual Life Assurance Society cont.

AC 28 at 67–8), so there can be no variation in the measure of damages awarded under the Act for contraventions of ss 52 and 53(g) depending on the nature of the contract.

This conclusion involves no element of injustice to a plaintiff who is entitled to damages reflecting the loss of benefits he would have obtained under a contract which he could and would have entered into but for his reliance on the contravening conduct of the defendant. Of course he must prove such loss but there is nothing unfair in requiring him to do so …

[GIBBS CJ delivered a concurring judgment.]

Appeal dismissed.

Loss of opportunity

[33.185] Damages may be claimed under s 236 for loss of an opportunity to obtain a commercial benefit or advantage such as entering or continuing a profitable contract with another party. The problems of proof of damage and assessment of damages in such claims were considered by the High Court in the following case.

Sellars v Adelaide Petroleum NL

[33.190] *Sellars v Adelaide Petroleum NL* (1992) 179 CLR 332 (High Court of Australia) – Appeal from the Federal Court of Australia.

[FACTS: Early in 1988, Adelaide Petroleum NL (*Adelaide*), an oil and minerals exploration company, had insufficient working capital and faced heavy expenditure commitments. Adelaide's directors entered into two parallel negotiations with two different companies with the object of persuading one of them to acquire the directors' shareholdings in Adelaide as an element in a restructuring arrangement. One company was Poseidon Ltd (*Poseidon*); the other was Pagini Resources NL (*Pagini*). By the middle of May 1988, Adelaide's directors had come close to an agreement with Pagini and, on 27 May 1988, a draft contract was submitted by Pagini to Adelaide for consideration. This draft contract contained seven paragraphs of conditions precedent. In June 1988 Adelaide's directors decided not to pursue the negotiations with Pagini, and entered into an agreement with Poseidon instead. This agreement involved the sale to Poseidon of the directors' shares in Adelaide. However, about three weeks after the agreement was signed Poseidon informed Adelaide that the agreement had been procured by an executive of Poseidon, *Sellars*, who had exceeded his authority. Poseidon indicated that it would comply with the agreement if desired, but would not assume management control of Adelaide; nor would two key directors of Poseidon consent to act as directors of Adelaide. Adelaide took the view that Poseidon's conduct amounted to repudiation, and on 29 July 1988, accepted that repudiation. It then entered into fresh negotiations with Pagini and subsequently entered into an agreement with Pagini (the Pagini contract) for a restructuring of Adelaide, but on terms less favourable than those which would have resulted if the original Pagini negotiations had been pursued to a conclusion.

Adelaide commenced actions against Poseidon and Sellars seeking damages under s 82 of the *Trade Practices Act 1974* [now ACL, s 236]. Adelaide alleged that it did not proceed to the conclusion of the original draft Pagini agreement as a result of misrepresentations, in contravention of s 52 of the Act [now ACL, s 18], made to them by Sellars and Poseidon that Poseidon intended upon completion of the proposed agreement with it to acquire control of and to assume management of Adelaide and to nominate and support the election of three Poseidon directors to the board of Adelaide.

Sellars v Adelaide Petroleum NL cont.

French J was persuaded on the balance of probabilities that the original Pagini agreement would have been entered into but for the misrepresentations of Poseidon, but he was not persuaded, according to that standard of proof, that all the various conditions precedent to its performance would have been satisfied. He held that there was more than a speculative possibility that the Pagini agreement would have been concluded and that Adelaide would have derived benefits from it. Poseidon's loss was the loss of the benefit of the original agreement with Pagini less the benefit obtained by the subsequent agreement with Pagini. The judge then discounted the resulting figure to 40 per cent to allow for the probability that the agreement would not have proceeded and allowing for certain additional discounts in relation to particular items, awarded Adelaide damages for the lost commercial opportunity and interest, totalling $1,212,193. Poseidon and Sellars appealed to the Full Court of the Federal Court, and their appeals were dismissed. They then appealed to the High Court.]

MASON CJ, DAWSON, TOOHEY AND GAUDRON JJ: [339] The primary question is whether, in the circumstances of this case, loss of an opportunity to obtain a commercial advantage or benefit amounts to "loss or damage" within s 82(1). Is it necessary for the applicant to prove on the balance of probabilities that a benefit would have been derived from the opportunity had it not been lost and, if so, the extent of that benefit? Or is it sufficient for the [340] applicant to show, not on the balance of probabilities but by reference to the degree of possibilities and probabilities, that there were some prospects of deriving a benefit from the opportunity had it not been lost and, if so, then to ascertain the value of the opportunity or benefit by reference to such possibilities and probabilities? The question whether the applicant has sustained loss or damage is necessarily related to the ascertainment or measurement of that loss or damage. In the discussion which follows, we have dealt with those matters together without distinguishing between them before reaching our ultimate conclusion … [348]

Section 82(1) of the Act

… In the context of contraventions of s 52(1) in the form of misleading conduct constituted by misrepresentations, acts done by the representee in reliance upon the misrepresentations amount to a sufficient connexion to satisfy the concept of causation. And, if those acts result in economic or financial loss, it will ordinarily be recoverable under s 82(1). So, in a case such as the present, the applicant is entitled to recover "a sum representing the prejudice or disadvantage [the applicant] has suffered in consequence of his altering his position under the inducement" (*Toteff v Antonas* (1952) 87 CLR 647, at 650; *Wardley Australia* (1992) 175 CLR, at 526).

The prejudice or disadvantage which the respondents suffered in the present case was the loss of the opportunity or chance of securing commercial benefits which entry into the Pagini agreement and completion of it would have brought. The lost opportunity or chance, assuming it to have value, is a form of economic loss. The question, therefore, is: how is the value of that lost opportunity or chance to be measured?

The appellants argue that, on the civil standard of proof and the findings made by the trial judge, the opportunity or chance of which [349] the respondents were deprived was worth nothing. That is because it was more likely than not that the Pagini agreement would not be completed.

In the realm of contract law, the loss of a chance to win a prize in a competition resulting from breach of a contract to provide the chance is compensable, notwithstanding that, on the balance of probabilities, it is more likely than not that the plaintiff would not win the competition (*Chaplin v Hicks* [1911] 2 KB 786; *McRae v Commonwealth Disposals Commission* (1951) 84 CLR 377, at 411–12). As the contract contained a promise to provide the chance, the breach of the contract resulted in the loss of the chance and that loss was for relevant purposes an actual loss, in the sense in which Dixon and McTiernan JJ used that expression in *Fink v Fink* (1946) 74 CLR 127, at 143. And, where there has been an actual loss of some sort, the common law does not permit difficulties of estimating the loss in money to defeat an award of damages ((1946) 74 CLR 127, at 143). The damages will then be ascertained by reference to the degree of probabilities, or possibilities, inherent in the plaintiff's succeeding had the plaintiff been given the chance which the contract promised.

Sellars v Adelaide Petroleum NL cont.

This approach is not confined to contracts relating to games of chance, sporting contests or other competitions. *Fink v Fink* concerned a contract to provide an opportunity for a reconciliation, breach of which was held to entitle the wife to damages. And there can be no doubt that a contract to provide a commercial advantage or opportunity, if breached, enables the innocent party to bring an action for damages for the loss of that advantage or opportunity (*The Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64). So, in *The Commonwealth v Amann Aviation Pty Ltd*, Mason CJ and Dawson J (at p 92), Brennan J (at 102–4) and Deane J (at 118–19) concluded that a lost commercial advantage or opportunity was a compensable loss, even though there was a less than 50 per cent likelihood that the commercial advantage would be realised. Damages for breach of contract were assessed by reference to the probabilities or possibilities of what would have happened.

Damages in tort have also been assessed by reference to the probabilities or possibilities of what will happen or what would have [350] happened. That approach has been frequently adopted in the assessment of damages for personal injuries where a court has been called upon to assess future possibilities and past hypothetical situations. In *Malec v JC Hutton Pty Ltd* (1990) 169 CLR 638, this Court drew a distinction between, on the one hand, proof of historical facts – what has happened – and, on the other hand, proof of future possibilities and past hypothetical situations. The civil standard of proof applies to the first category but not to the second, particularly when it is necessary to determine future possibilities and past hypothetical situations for the purpose of assessing damages (ibid, at 639–40, per Brennan and Dawson JJ; 642–3, per Deane, Gaudron and McHugh JJ).

In *Malec*, Deane, Gaudron and McHugh JJ explained the way in which the matter is to be approached in these terms (ibid, at 643):

> If the law is to take account of future or hypothetical events in assessing damages, it can only do so in terms of the degree of probability of those events occurring … But unless the chance is so low as to be regarded as speculative — say less than 1 per cent — or so high as to be practically certain — say over 99 per cent — the court will take that chance into account in assessing the damages. Where proof is necessarily unattainable, it would be unfair to treat as certain a prediction which has a 51 per cent probability of occurring, but to ignore altogether a prediction which has a 49 per cent probability of occurring. Thus, the court assesses the degree of probability that an event would have occurred, or might occur, and adjusts its award of damages to reflect the degree of probability.

The same approach has been adopted in England (*Mallett v McMonagle* [1970] AC 166, at 174; *Davies v Taylor* [1974] AC 207, at 212, 219) and Canada (*Janiak v Ippolito* [1985] 1 SCR 146; (1985) 16 DLR (4th) 1).

Neither in logic nor in the nature of things is there any reason for confining the approach taken in *Malec* concerning the proof of future possibilities and past hypothetical situations to the assessment of damages for personal injuries. The reasons which commended the adoption of that approach in assessments of that kind apply with equal force to the assessment of damages for loss of a commercial opportunity, as the judgments in *Amann* acknowledge.

But *Amann* concerned damages for breach of contract. The question here is whether the same approach is to be adopted in determining whether an applicant has suffered loss or damage under s 82(1) for a contravention of s 52 and, if so, in assessing damages. [351] Unlike contract, loss or damage is the gist of the action for contravention of s 52. Is this a convincing point of distinction? That, it seems to us, is the critical question.

The adoption of the *Malec* principle in the assessment of damages for personal injury for negligence would seem to deny the validity of such a distinction. But, in cases of that kind, the fact that the plaintiff *has* suffered *some* damage and therefore has a complete cause of action is normally established by evidence which satisfies the civil standard of proof.

More to the point are authorities in Australia … which suggest that, in some hypothetical fact situations, causation and the incurring of some loss or damage must be established according

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to the civil standard of proof … [T]here are two decisions of this Court which, on the appellants' argument, might be taken to indicate that the incurring of consequential loss (and causation) are to be established in accordance with the general standard of proof in civil actions. In *Gates v City Mutual Life Assurance Society Ltd* (1986) 160 CLR 1, the case on ss 52(1) and 82(1) to which the trial judge referred, the appellant entered into a policy of insurance, induced by the misrepresentation that it would entitle him to benefits if he were totally disabled from following his occupation as a builder. In fact the policy entitled him only to benefits if he was disabled from following any occupation, so that he was not entitled to benefits when disabled only from following his occupation as a builder. The Court held that, if the appellant had been able to establish that he [352] could and would have entered into a policy of insurance containing a disability clause of the kind represented to him had it not been for his reliance on the representation, he might have been awarded damages equal to the benefits that would have been payable under that policy less the premiums paid or payable. Having failed to establish that matter, the appellant was not entitled to damages on that account.

However, *Gates* is not a decision on the question now under consideration. There was no evidence as to what the appellant would have done had he known that the respondent insurance company did not offer insurance on the terms he wanted; nor was there any evidence that insurance was available on those terms elsewhere ((1986) 160 CLR, at pp 7, 14). Consequently, there was no evidence to show that there was a chance of making alternative arrangements for insurance in *Gates*. What is more, the observations on which the appellants in the present case rely (ibid, at 13, per Mason, Wilson and Dawson JJ) are directed to a hypothetical situation in which a plaintiff seeks to recover as damages for misrepresentation *the profit* the plaintiff would have made on another contract had he or she not been deprived of the opportunity of doing so as a result of the misrepresentation sued on.

The second case, *Norwest Refrigeration Services Pty Ltd v Bain Dawes (WA) Pty Ltd* (1984) 157 CLR 149, is more significant because it seems to require past hypothetical facts to be proved on the balance of probabilities and because it treated the opportunity to avoid loss as not being compensable. In that case, the plaintiff's fishing vessel, the *Sonoma*, was destroyed by fire. The insurer refused to accept liability under the policy, relying on an exclusion clause in the policy.

The plaintiff sued the broker and the fishing co-operative which had offered the policy to the plaintiff, alleging that they had negligently failed to warn the plaintiff that the policy contained an unusual exclusion clause. The co-operative was held to be in breach of a duty of care and damages were awarded. On appeal to this Court the award of damages was not disturbed.

Gibbs CJ, Mason, Wilson and Dawson JJ said (at 160):

> Of course the onus of proving its damage rests upon Norwest. Therefore, in order to sustain the judgment of the Full Court, it must point to evidence showing that, on the balance of probabilities, had the Co-operative discharged its duty of care Norwest could have secured at no higher cost [353] effective insurance cover against the risk that ultimately destroyed the *Sonoma*.

Brennan J said ((1984) 157 CLR, at 171–2):

> The Co-operative's negligent failure to inform [Norwest] that it had not obtained effective insurance for the *Sonoma* caused Norwest to lose an opportunity of applying elsewhere to obtain a policy which would have given it effective cover pending the obtaining of a survey certificate, or an opportunity of trying to have the machinery and equipment survey completed and a survey certificate issued so as to satisfy the conditions of the fleet policy. But the damage which Norwest suffered was the absence of effective insurance, at the time when the *Sonoma* was lost. The onus was on Norwest to prove that damage was caused by the Co-operative's negligence … Before Norwest's cause of action was established it had to prove that it could have and that it would have taken steps which would have resulted in effective insurance of the *Sonoma* at the time of her loss.

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The comments quoted above were not critical to the decision in the case as the award of damages was upheld.

It may be that … *Gates* and *Norwest* are to be treated as cases which turn primarily on the issue of causation which is ordinarily governed by the general civil standard of proof. The distinction between proof of causation and damages was emphasised in *Hotson v East Berkshire Area Health Authority* [1987] AC 750. There Lord Ackner stated that the first issue that fell to be determined was that of causation. This was to be determined on the balance of probabilities. Once liability was established, the assessment of the plaintiff's loss could proceed, taking into account any reductions arising from the uncertainty of future events (ibid, at 792–3; see also at 782–3, per Lord Bridge of Harwich). When the issue of causation turns on what the plaintiff would have done, there is no particular reason for departing from proof on the balance of probabilities notwithstanding that the question is hypothetical.

In *Johnson v Perez* (1988) 166 CLR 351, Brennan J (dissenting) adopted an approach similar to that suggested by *Norwest*. In *Johnson*, the plaintiff sued his solicitor for negligence in allowing the plaintiff's cause of action against a third party to become statute barred. His Honour said (at 372):

> [T]he court must find whether or not he has lost something of value. If he would have failed in the original action, he has lost [354] nothing; if he would have succeeded, he has lost what he would have received at the time he would have received it …. Or, if it is doubtful whether or not he would have succeeded in the action and it is not probable that the action would have been compromised, the court assessing the damages must determine as best it can on the balance of probabilities whether the plaintiff would have succeeded (and, if so, to what extent) or failed.

On the other hand, in a similar situation, the English Court of Appeal, in *Kitchen v Royal Air Force Association* [1958] 1 WLR 563; [1958] 2 All ER 241, concluded that the plaintiff had been deprived of a cause of action which had some value. Parker LJ observed (at 576; 252): "If the plaintiff can satisfy the court that she would have had some prospect of success, then it would be for the court to evaluate those prospects, taking into consideration the difficulties that remained to be surmounted."

In *Amann* (1991) 174 CLR, at 119, Deane J expressed a similar view, saying:

> [A] plaintiff whose action against a third party has become statute-barred by reason of the defendant solicitor's breach of contract may recover damages by reference to the court's assessment of what the chance of success in the action against the third party would have been even though that assessment is 50 per cent or less.

Of course, *Johnson*, *Kitchen* and the example given by Deane J are cases of breach of contract.

[355] … Notwithstanding the observations of this court in *Norwest*, we consider that acceptance of the principle enunciated in *Malec* requires that damages for deprivation of a commercial opportunity, whether the deprivation occurred by reason of breach of contract, tort or of contravention of s 52(1), should be ascertained by reference to the court's assessment of the prospects of success of that opportunity had it been pursued. The principle recognized in *Malec* was based on a consideration of the peculiar difficulties associated with the proof and evaluation of future possibilities and past hypothetical fact situations, as contrasted with proof of historical facts. Once that is accepted, there is no secure foundation for confining the principle to cases of any particular kind.

On the other hand, the general standard of proof in civil actions will ordinarily govern the issue of causation and the issue whether the applicant has sustained loss or damage. Hence the applicant must prove on the balance of probabilities that he or she has sustained *some* loss or damage. However, in a case such as the present, the applicant shows *some* loss or damage was sustained by demonstrating that the contravening conduct caused the loss of a commercial opportunity which had *some* value (not being a negligible value), the value being ascertained by reference to the degree of probabilities or possibilities. It is no answer to that way of viewing an applicant's case to say that the commercial

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opportunity was valueless on the balance of probabilities because to say that is to value the commercial opportunity by reference to a standard of proof which is inapplicable.

The conclusion which we have reached on this question finds support in other considerations. The approach results in fair compensation whereas the all or nothing outcome produced by the civil standard of proof would result in the vast majority of cases in over-compensation or under-compensation to an applicant who has been deprived of a commercial opportunity. Furthermore, it is an [356] approach which conforms to the long-standing practice of taking into account contingencies in the assessment of damages.

On the findings made by the trial judge, the Pagini contract would have been entered into but for the contraventions of s 52(1). Although, on the probabilities, it would not have been completed, there was a significant chance that it would be completed. It follows that the Full Court of the Federal Court were not in error in dismissing the appeals.

[BRENNAN J delivered a separate judgment in which he held that the appeal should be dismissed.]

Appeal dismissed.

Contract analogy: expectation loss

[33.195] In *Marks v GIO Australia Holdings Ltd* [1998] HCA 69; (1998) 196 CLR 494, [38] (at [33.250]) McHugh, Hayne and Callinan JJ said:

> [T]here is nothing in s 82 [now ACL, s 236] … which suggests … that the amount that may be recovered under s 82(1) … should be limited by drawing some analogy with the law of contract, tort or equitable remedies. Indeed, the very fact that [the section] may be applied to widely differing contraventions of the Act, some of which can be seen as inviting analogies with torts such as deceit (eg s 52) [now ACL, s 18] or with equity (eg s 51AA) [now ACL, s 20] but others of which find no ready analogies in the common law or equity, shows that it wrong to limit the apparently clear words of the Act by reference to one or other of these analogies.

Despite the logical difficulties associated with allowing expectation damages under s 236 for misleading conduct (see Colvin, "Tales of the Unexpected: Damages for Lost Expectations" (1997) 5 *Trade Practices Law Journal* 17) the High Court was prepared to depart from measuring loss on a reliance basis in *Murphy v Overton Investments Pty Ltd* [2004] HCA 3; (2004) 216 CLR 388, at [33.200]. The decision in *Murphy v Overton* seems to contradict much of what was said by the High Court in *Marks v GIO Australia Holdings Ltd* [1998] HCA 69; (1998) 196 CLR 494, at [33.250].

Murphy v Overton Investments

[33.200] *Murphy v Overton Investments Pty Ltd* [2004] HCA 3; (2004) 216 CLR 388 (High Court of Australia) – Appeal from the Full Court of the Federal Court of Australia.

[FACTS: In 1992, the *appellants* purchased a leasehold interest in a unit in a retirement village operated by the *respondent*. The leases of units in the village required the tenants to pay, each month, a proportion of the "outgoings" of the village (ie, the costs of owning, operating and maintaining the village). Before the appellants entered into the transaction the respondent provided them with an estimate of the amount they were likely to be charged in relation to outgoings. The estimate was misleading because it did not take into account all of the outgoings then being incurred in the operation of the village, which the respondent was entitled to charge under the terms of the

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lease. In 1996 the respondent announced that it would begin charging the full amount of outgoings payable under the terms of the lease. The appellants sought relief under the *Trade Practices Act 1974* (now ACL).]

GLEESON CJ, MCHUGH, GUMMOW, KIRBY, HAYNE, CALLINAN AND HEYDON JJ: [402]

Conclusions at trial

The trial judge concluded that the appellants had not proved that they had suffered any loss or damage. There were two steps taken to reach that conclusion. First, his Honour said that:

> When a claimant is induced by a misrepresentation to enter into an agreement that proves to be to his or her disadvantage, the claimant sustains a detriment, in a general sense, on entry into the agreement. That is because the agreement subjects the claimant to [403] obligations and liabilities that exceed the value or worth of the rights and benefits that it confers upon the claimant. However, detriment in that general sense is not universally equated with the legal concept of "loss or damage" —*Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514 at 527 …. Where a misrepresentation induces a claimant to enter into an agreement to purchase property, the claimant's loss, apart from any question of consequential damage, is measured by the difference between the price paid or payable under the agreement and the value of the property at the date of the agreement —*Potts v Miller* (1940) 64 CLR 282 at 297–299.

As has been said above, there was no evidence of any difference between price paid under the agreement and the value of the property at the date of the agreement.

Secondly, it was said that, because the lease obliged the appellants to pay the sums claimed as outgoings, and there was no evidence that the appellants were "not receiving value for the maintenance fees that they [were] paying", they suffered no loss "by reason of the level of maintenance fees that they [were] liable to pay". It was said that the appellants had done nothing to their detriment after the respondent indicated that it intended to charge all that it was entitled to charge under the lease for outgoings. Their obligation to make those payments was undertaken when they took their lease and that obligation was not "contingent in the sense that was referred to in *Wardley*".

Two comments about this reasoning may be made at once. First, the difference between price and value will often be an important element in assessing the damage suffered by a person who, by a misrepresentation, has been induced to buy an item of property. As the trial judge said, there may also be questions of consequential damage. It would be wrong, however, to assume that in every case of misrepresentation (leave aside other forms of misleading or deceptive conduct) the only kind of damage which may be suffered, and compensated or redressed by orders under Pt VI of the Act, is any difference between price and value or any consequential losses. In particular, care must be exercised before seeking to apply what it described as the "rule in *Potts v Miller*" to claims made for relief under Pt VI of the Act. This is especially so when it is recalled that while the only monetary remedy for the tort of deceit is damages, a far wider range of remedies is available where contravention of the Act has caused or is likely to cause loss or damage to a party to the proceeding.

[404] Secondly, while the trial judge rightly pointed out that there was no evidence that the appellants did not receive value for the maintenance fees they paid, it does not necessarily follow that there was no loss incurred by the appellants if the outgoings for which they were liable included sums of a kind which had not been taken into account in forming the estimate they were given …

The Full Court decision

[33.205] [405] In the Full Court, the majority (Branson and R D Nicholson JJ) held that the trial judge was right not to make any award of damages to either appellant. That conclusion depended upon the following steps in reasoning. First, the critical question was identified as being what would the appellants have done had the respondent not engaged in contravention of a provision of Pt V of the Act. Secondly, because it was known that in that event the appellants would have entered another,

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identified, retirement village, the question became what would the appellants' position have been had they not entered the lease they did, but entered the other village. Thirdly, because no evidence was led to establish what would have been the appellants' position had they entered the other village, the majority held that the claim to damages under s 82 or s 87 or other relief under s 87 had been rightly held to fail for want of proof of loss or damage. …

[406] It is … clear that the arguments about relief advanced to the Full Court were, as might be expected, shaped by the course of evidence at trial. In particular, the arguments were shaped having regard to the fact that the only evidence led at trial which sought to quantify the loss suffered by the appellants was evidence about the capital value of their leases assessed at different times and on different assumptions about the extent of the obligation to meet outgoings ….

What is clear is that the reasons of the majority in the Full Court focused upon whether the appellants had proved an entitlement to damages. The majority held that they had not ….

This abbreviated description of the reasons of the Full Court reveals that the majority of the Court focused upon what might be described as the capital consequences to the appellants of the respondent's misleading or deceptive conduct. The majority confined attention to whether the appellants had paid too much for the lease they had acquired …. This division of opinion in the Full Court was understood to raise a fundamental question about what the Act means by "loss or damage" and how loss or damage is to be identified. Particular attention was [407] given, both in the reasons of the Full Court and in the arguments advanced in this Court, to analysing this Court's reasons in *Marks v GIO Australia Holdings Ltd* (1998) 196 CLR 494 concerning the identification of loss or damage. In the end, however, the resolution of this appeal does not depend upon identifying the nature or extent of any differences there may be between the separate reasons given in *Marks*. It depends upon the application of the Act according to its terms.

Some general principles affecting remedies under Pt VI

[33.210] This Court has now said more than once (*Marks v GIO Australia Holdings Ltd* (1998) 196 CLR 494 at 503–504 [17] per Gaudron J, 510 [38] per McHugh, Hayne and Callinan JJ, 529 [103] per Gummow J, 549 [152] per Kirby J; *Henville v Walker* (2001) 206 CLR 459 at 501–502 [130]–[131] per McHugh J; *I & L Securities Pty Ltd v HTW Valuers (Brisbane) Pty Ltd* (2002) 210 CLR 109 at 124–125 [42]–[48] per Gaudron, Gummow and Hayne JJ) that it is wrong to approach the operation of those provisions of Pt VI of the Act which deal with remedies for contravention of the Act by beginning the inquiry with an attempt to draw some analogy with any particular form of claim under the general law. No doubt analogies may be helpful, but it would be wrong to argue from the content of the general law that has developed in connection, for example, with the tort of deceit, to a conclusion about the construction or application of provisions of Pt VI of the Act. To do so distracts attention from the primary task of construing the relevant provisions of the Act. In the present case, analogies with the tort of deceit appear to have led to an assumption, at least at trial, that a person can suffer only one form of loss or damage as a result of a contravention of Pt V of the Act.

The Act's references to "loss or damage" can be given no narrow meaning. Section 4K of the Act provides that loss or damage includes a reference to injury. It follows that the loss or damage spoken of in ss 82 and 87 is not confined to economic loss [*Marks* (1998) 196 CLR 494 at 513 [46] per McHugh, Hayne and Callinan JJ, 526–527 [93]–[96] per Gummow J]. What kinds of detriment constitute loss or damage, when a detriment is to be identified as occurring or likely to occur, and what remedies are to be awarded, may all raise further difficult questions. Especially is that so when it is recalled that remedies may be awarded to compensate, prevent or reduce loss or damage that has been or is likely to be suffered by conduct in contravention of the Act.

In *Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514 at 526–527, a case about the application of s 82 of the Act, not s 87, a majority of the Court held that risk of loss is not itself a category of loss, and that, if a [408] plaintiff enters a contract which exposes the plaintiff to a *contingent* loss or liability, that plaintiff "sustains no actual damage until the contingency is fulfilled

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and the loss becomes actual" [(1992) 175 CLR 514 at 532]. Wardley illustrates that it is necessary to identify the detriment which is said to be the loss or damage which has occurred (or, when considering the application of s 87, has occurred or is likely to occur). In that case, the mere entry into obligations which might, but need not, have had detrimental consequences in the future was held not to have occasioned loss or damage to the party making the contract.

… [409]

The appellants' loss

[33.215] No doubt the appellants' disclaimer of any contention that they had suffered loss when they entered the lease in 1992 must be understood in the light of the three year limitation period then prescribed by the Act in ss 82(2) and 87(1CA)(b). It was important for the appellants to demonstrate that they had suffered loss or damage only when the respondent first said, in 1996, that it would recover from tenants all amounts that it was entitled to under the lease. If that were established, no limitation defence could be made out. It by no means follows, however, from the fact of disclaimer of any contention that damage was suffered by the appellants when they took the lease, that they did not suffer loss later.

In the present case, the finding that the appellants had been induced to enter the lease by a statement of estimated outgoings that was misleading, because it did not take account of all amounts that could properly be charged as outgoings, meant that the appellants undertook an obligation which may, but need not, have proved to be larger or more costly than they had been led to believe. There may be cases in which a person misled in this way suffers loss upon entering the agreement. That may be so if it could be shown that the sum paid exceeded the market value. But that was not this case. No evidence at trial suggested that they had paid more than market value. There was no misrepresentation about the nature or quality of the property being [410] acquired. The first appellant knew and understood that the lease obliged the appellants, as tenants, to pay outgoings in amounts which the lessor was to determine.

What the appellants did not know was that the estimate of outgoings they were given did not provide for all the outgoings that were then being incurred. Here, therefore, the appellants suffered no loss as a result of undertaking the obligations they did unless and until the contingency which the misrepresentation hid (that items other than those used to form the estimate were then being incurred and could be charged as outgoings) was first realised. That was a contingency in the sense that the adverse risk might never have eventuated. When the lease was entered in 1992, the respondent was charging levies in relation only to limited categories of the overall outgoings. The respondent might have chosen to continue to charge the appellants only for those limited categories. On the other hand, it was possible that after 1992 it might decide to charge for wider categories. It was only from the time when it in fact decided to depart from the 1992 position and charge for the wider categories that the adverse risk eventuated. When it did, but only then, the appellants suffered loss and damage. And this Court's decision in *Wardley* (1992) 175 CLR 514 at 532–533 requires the conclusion, on the evidence in this case, that it was only when the contingency came to pass that the appellants sustained loss or damage. It follows that no limitation defence was available.

… [411]

The appellants' case in this Court

[33.220] Although the claim for relief under s 87 was not abandoned, the chief weight of the appellants' case in this Court (as it had been in the Full Court) was placed on their claim to damages. They maintained their contentions that the loss or damage they had sustained was reflected in a diminution in value of their leasehold interest and submitted that the diminution in value of the unit due to increased future contributions (said by the appellants to be but one aspect of their loss) could be awarded as damages. In addition, however, it was said that the loss or damage they had suffered was reflected in "the increase in levies above those paid prior to the inclusion of all expenditure".

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… [412] What must be shown is that the appellants had suffered or were likely to suffer loss or damage by conduct of the respondent engaged in contravention of a relevant provision of the Act. For the reasons given earlier, that was established.

Three points should be made, however, about the particular formulation of the appellants' claim to damages. First, the claim for alleged difference in value of the lease must deal with the fact that the trial judge preferred the evidence of a valuer called by the respondent (to the effect that there was no substantial diminution in value of the appellants' property as a result of the increase in outgoings after November 1996) to the evidence given on that topic by the appellants' valuer…. There is no reason to set aside that finding …. Secondly, if the appellants confine their claim, as they did in this Court, to a claim for damages, and if, further, they intend to retain ownership of the lease, the obligations under which are not to be reformed by Court order, the property which they retain is identical with the property they bought. If they are entitled to recover damages assessed by reference to the amount by which the obligation to meet outgoings is larger than the estimate led them to anticipate, it would be [413] to give the appellants double compensation to award an additional sum said to represent the difference in value of the lease of the unit. It would be double compensation because the assertion of difference in value seeks to compare the value of the lease of the unit assessed on the assumption that the representation made by the respondent was true (and the estimate did take full account of outgoings incurred) and the value assessed on the assumption that the representation was not true. Yet the damages which the appellants seek to be allowed for past and future outgoings would make good the position they would have been in had the misrepresentation not been made. It is neither necessary nor appropriate to award some further sum.

The third point [is] that the contention that the appellants' damages should be assessed as the present value of anticipated increased payments for outgoings appears to be wholly new. The evidence led at trial did not quantify the amount by which it was alleged that *future* payments for outgoings would increase due to the falsity of the representation. The weight of the appellants' argument at trial was directed to questions of affordability. That being so, argument at trial appears to have focused upon the allegation that *increases* in amounts charged for outgoings should be limited by reference to changes in the Aged Pension. In addition, however, there was argument directed to demonstrating that certain kinds of charge imposed in the past (particularly legal and accounting costs) could not be recovered as outgoings.

In argument in this Court we were taken to no evidence about the likely period for which the appellants would be exposed to the obligation to pay outgoings and to no evidence about the way in which the present value of that future stream of expenditures should be valued. So far as the appeal books reveal, no evidence of that kind was adduced at trial.

Quantifying the appellants' loss

[33.225] The appellants had been induced by the respondent's conduct to undertake an obligation which may, but need not, have been more onerous than the respondent's representation led them to believe. When the respondent started to charge all the outgoings it was entitled to charge, the appellants suffered a loss. The amount of that loss was not to be determined, as the majority of the Full Court held, only by comparing the financial position of the appellants according to whether they entered this lease or took some other accommodation. The appellants did not contend that they had suffered loss in that way. The appellants suffered loss because the continuing financial obligations they undertook when they took the lease proved to be larger than they had been led to believe. The question then became: how much larger was that burden?

Answering that question is not easy. It would be necessary to take account of a number of considerations. First, the appellants knew that outgoings might increase. When they took the lease they knew, or at [414] least must be taken to have known, that unexpected outgoings could occur in the future: unexpected both as to the subject-matter of the expense and the amount. It would be wrong to compensate them for their incurring outgoings of that kind, but how is proper account to be taken of that fact?

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The nature of this difficulty (and its resolution) may be illustrated by reference to the legal and accounting costs which the respondent incurred in connection with the dispute about fixing outgoings. Those could be described as unexpected outgoings. But had the respondent not engaged in the misleading or deceptive conduct it did, these outgoings would not have been incurred. The incurring of them was, therefore, caused by the conduct of which complaint was made and, being part of the sums for which the appellants are liable under the [43] judgments entered in the Supreme Court, are prima facie to be allowed in assessing the damage they have suffered.

As for other kinds of unexpected outgoings (for example, for the early repair of some piece of capital equipment in the village that could reasonably have been expected to have given longer service) the relevant question would be whether, when the original estimate of outgoings was given, such an amount had been incurred or foreseen as likely to be incurred and could then have been included in the estimate. If it could have been included, but was not, the later inclusion of similar amounts in levies for outgoings is prima facie reason to consider those sums to be a part of the damage the appellants have suffered. But if those amounts had not been incurred and could not have been included, then, unless more is shown, they are not part of the appellants' loss or damage.

Secondly, once the contingency which had been hidden by the misrepresentation came to pass, it may be necessary to consider whether it was then reasonable for the appellants to continue to remain in the village rather than attempt to sell their interest and move elsewhere …. The inquiry would, no doubt, have to give due weight to the then age of the appellants, their state of health and other matters affecting whether it was reasonable to expect them to confront the turmoil, cost and burdens associated with selling their residence, buying or renting another, and shifting to it …. [415] [I]f it were found that it was, or would at some later time become, unreasonable for the appellants not to sell their interest in the lease, the point at which they could be expected to sell the lease would mark the outer limit to the period for which they would be exposed to the obligation to pay more outgoings than they were led to anticipate.

Thirdly, as has been mentioned earlier, it would in the circumstances of this particular case, in which the appellants accepted that there could be no claim in relation to the period after their deaths, have been necessary to estimate how long this larger financial burden would likely be borne by the appellants. This would be a matter for the appellants to establish. It would require estimates of life expectancy and the making of adjustments to take account of possibilities like the decline in health of the second appellant which necessitated her moving to other accommodation.

Conclusion and orders

[33.230] The reasoning employed by the Full Court in reaching the conclusion that the appellants proved no loss or damage was erroneous. The appellants did establish that they had undertaken an [416] obligation which, in the events that happened, proved to be larger than the respondent's misleading conduct led them to believe. Though at the end of the day the appellants may fail to prove any loss or damage, it is possible that they will demonstrate that they have suffered loss or damage. The matter should be remitted to the trial judge to assess the damages, if any, to be allowed to the appellants.

[33.235] Notes

1. Some footnote references have been omitted from this extract.
2. In subsequent decisions, some courts have relied on *Murphy v Overton Investments Pty Ltd* to award damages for expectation loss (see eg *Dalecoast Pty Ltd v Guardian International Pty Ltd* [2004] WASC 82; *Callander v Ladang Jalong (Australia) Pty Ltd*

[2005] WASC 159). However, in several other cases the courts have resisted recognising expectation loss as a compensable form of loss under s 236 and have confined *Murphy v Overton Investments Pty Ltd* to its facts (see eg *Warwick Entertainment Centre Pty Ltd v Alpine Holdings Pty Ltd* [2005] WASCA 174; (2005) 224 ALR 134; *Slinger v Southern White Pty Ltd* [2005] SASC 267; (2005) 92 SASR 303; *Sumy Pty Ltd v Southcorp Wines Pty Ltd* [2004] NSWSC 1000; *Bonnett v Baron & Dowling Property Group* (2006) 67 NSWLR 475).

Orders under s 237

[33.240] Subsection 237 permits the courts to make a wide variety of orders. It provides that:

(1) A court may:

(a) on application of a person (the *injured person*) who has suffered, or is likely to suffer, loss or damage because of the conduct of another person that:

(i) was engaged in a contravention of a provision of Chapter 2, 3 or 4; or

…

(b) on the application of the regulator made on behalf of one or more such injured persons;

make such order or orders as the court thinks appropriate against the person who engaged in the conduct, or a person involved in that conduct.

(2) The order must be an order that the court considers will:

(a) compensate the injured person, or any such injured persons, in whole or in part for the loss or damage; or

(b) prevent or reduce the loss or damage suffered, or likely to be suffered, by the injured person or any such injured persons.

Before setting out the "orders" a number of points should be noted. First, s 18 is found in Ch 2 of the ACL. Chapter 2 also contains the provisions prohibiting unconscionable conduct (see Chapter 38). Secondly, the phrase "a person who was involved in the contravention" is defined by s 2(1) to include persons who have aided or abetted, or have been knowingly concerned in a contravention. Thirdly, unlike s 236, which is concerned only with compensation for actual loss or damage, s 237 extends to the prevention and reduction of loss or damage which is "likely to be suffered". Fourthly, the orders granted under s 237 are in the court's discretion, whereas under s 236 there is an entitlement to compensation for loss or damage caused by a contravention. Finally, the relief for which s 237 makes provision is available as a stand-alone remedy.

Section 243 sets out a non-exhaustive list of the types of orders that can be made under s 237. The orders mentioned in s 243 are to the following effect:

(a) declaring a contract void in whole or in part;
(b) varying a contract;
(c) refusing to enforce all or any of the provisions of the contract;

(d) directing refund of money or return of property;
(e) directing payment to the person who suffered loss or damage of the amount of the loss or damage;
(f) directing repair of, or provision of spare parts for, goods;
(g) directing the supply of specified services; and
(h) directing variation of, or termination of, an instrument creating or transferring an interest in land.

Loss or likely loss

[33.245] A person who is induced to enter a contract by misleading conduct will normally suffer loss or likely loss as a result, and so qualify for relief under s 237. Such loss or likely loss is not inevitable, as *Marks v GIO Australia Holdings Ltd* [1998] HCA 69; (1998) 196 CLR 494 (at [33.250]) illustrates. However, *Marks v GIO* must now be treated with caution because it is arguably inconsistent with *Murphy v Overton Investments Pty Ltd* [2004] HCA 3; (2004) 216 CLR 388, at [33.200].

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[33.250] *Marks v GIO Australia Holdings Ltd* [1998] HCA 69; (1998) 196 CLR 494 (High Court of Australia) – Appeal from the Federal Court, Full Court.

[FACTS: The *appellants* (the borrowers) entered into loan facilities identified as the Asset Accumulator Account (the AAA facility) with the *respondent* (GIO), a public company financier. They relied on a misleading written representation in a brochure that the interest would be at a specified base rate plus a margin "set" at 1.25 per cent per annum. They drew down funds under the facilities. However, contrary to the representations that had been made, the loan contract itself enabled GIO to vary the margin on giving 90 days' notice, and on 21 April 1992 it notified the borrowers that in 90 days time (on 1 August 1992) the margin would be varied to 2.25 per cent per annum. GIO gave the borrowers an opportunity to withdraw from the loan contracts without penalty, but they did not take up this opportunity. Instead, they brought proceeding against the respondent alleging misleading conduct in breach of the statutory prohibition. They sought an order under s 87 [now ACL, s 237] varying the loan contracts to make good the representation or damages under s 82 [now ACL, s 236].

At trial, the borrowers did not claim that if they had known the truth about the variation clause, they would not have borrowed at all or would have sought to make alternative arrangements. In fact, they conceded that even with the increased margin, the loan facility was more beneficial to them than any other such facility in the market.

The trial judge (Einfeld J) awarded damages calculated on the difference between the interest payable where a margin of 1.25 per cent prevailed and the interest payable if the margin were 2.25 per cent. This award was overturned on appeal. It was held by the Full Court that the borrowers were seeking nothing less than an order making good their expectations as represented in the brochure, and that s 87 could not be used for that purpose. The court held that the normal measure of damages for misrepresentation was the difference at the time of purchase between the real value of what was acquired, and the price paid. The borrowers' inability to prove that a preferable alternative facility (with a "set" margin) could have been obtained on the market meant that no damages were recoverable under s 82. Section 87 was said to be unavailable to circumvent this result. The appellants appealed to the High Court.]

McHUGH, HAYNE AND CALLINAN JJ: [Their Honours set out ss 82 and 87 and continued:] [510] It can be seen … that both ss 82 and 87 require examination of whether a person has suffered (or, in the case of s 87, is likely to suffer) loss or damage "by conduct of another person" that was engaged in the contravention of one of the identified provisions of the Act. That inquiry is one that seeks to identify

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a causal connection between the loss or damage that it is alleged has been or is likely to be suffered and the contravening conduct. But once that causal connection is established, there is nothing in s 82 or s 87 (or elsewhere in the Act) which suggests either that the amount that may be recovered under s 82(1), or that the orders that may be made under s 87, should be limited by drawing some analogy with the law of contract, tort or equitable remedies. Indeed, the very fact that ss 82 and 87 may be applied to widely differing contraventions of the Act, some of which can be seen as inviting analogies with torts such as deceit (for example, s 52) or with equity (for example, s 51AA) but others of which find no ready analogies in the common law or equity, shows that it is wrong to limit the apparently clear words of the Act by reference to one or other of these analogies.

Gates did not hold to the contrary … [512] Although Gibbs CJ held ((1986) 160 CLR 1 at 6–7) that the measure of damages in tort, not contract, should apply in the assessment of damages under s 82 where there has been a contravention of ss 52 and 53, the other members of the Court said expressly that "[t]he courts are not bound to make a definitive choice between the two measures of damages so that one applies to all contraventions to the exclusion of the other" (at 14 per Mason, Wilson and Dawson JJ). Further, none of the members of the Court in *Gates* considered the circumstances in which relief under s 87 should be granted.

Nor do the later decisions of this Court in *Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514 or *Kizbeau Pty Ltd v WG & B Pty Ltd* (1995) 184 CLR 281 hold that the remedies provided by ss 82 and 87 are to be confined by analogies, whether with tort or otherwise.

This is not to say that no help can be had from the common law in deciding what damages may be allowed under s 82 in cases of conduct contravening s 52. Very often, the amount of the loss or damage caused by a contravention of s 52 will coincide with what would have been allowed in an action for deceit. But that is because the inquiry in both cases is to find out what damage flowed from (in the sense of being caused by) the deceit or contravention. Leaving aside questions of remoteness of damages in assessing damages for deceit (a question that was left unresolved in *Gould v Vaggelas* (1985) 157 CLR 215 at 223–4 per Gibbs CJ), the damages for deceit will be the sum representing the loss suffered by the plaintiff because the plaintiff altered its position in reliance on the defendant's misrepresentation …

But the analogy cannot be pressed too far. It should not be pressed to the point of concluding that the only damages that may be allowed under s 82 are those that would be allowed in an action for deceit. The question presented by s 82 is not what would be allowed in deceit, it is what loss or damage has been caused by the conduct contravening the Act.

It follows, then, that a comparison must be made between the position in which the party that allegedly has suffered loss or damage is and the position in which that party would have been but for the contravening conduct. And even this inquiry may not conclude the question. Analysing the question of causation only by reference to what is, in essence, a "but for" test has been found wanting in other contexts (see *March v Stramare (E & MH) Pty Ltd* (1991) 171 CLR 506) and it may well be that it is not an exclusive test of [513] causation in this area either. But that is not a question which we need to consider in this case. For the moment it is enough to say that s 82 requires identification of a causal link between loss or damage and conduct done in contravention of the Act: *Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514 at 525 per Mason CJ, Dawson, Gaudron and McHugh JJ.

If loss or damage is shown to have been suffered or to be likely to be suffered, orders of the kind prescribed by s 87 may be made. Proof of loss or damage (actual or potential) is therefore the gateway to the s 87 remedies. But the identification of loss or damage is important in the operation of s 87 not only for this reason but also because the power to make orders under s 87 is limited to making orders "if the Court considers that the order or orders concerned will compensate … in whole or in part for the loss or damage or will prevent or reduce the loss or damage …" (ss 87(1) and (1A). That is, the Court can make orders under s 87 only in so far as those orders will compensate (or will prevent or reduce) the loss or damage that is identified.

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In *Wardley* the majority of the Court held ((1992) 175 CLR 514 at 526 per Mason CJ, Dawson, Gaudron and McHugh JJ) that "[u]nder s 82(1), as under the common law, a plaintiff can only recover compensation for actual loss or damage incurred, as distinct from potential or likely damage (*Swingcastle Ltd v Gibson* [1990] 1 WLR 1223 at 1236; [1990] 3 All ER 463 at 473 per Sir John Megaw; see also [1991] 2 AC 223 at 232 per Lord Lowry, referring to the words of Sir John Megaw on the appeal to the House of Lords)" although, as their Honours noted "[t]he Act draws a clear distinction in Pt VI between loss or damage which may be recovered under s 82 and the likelihood of loss or damage which may be prevented or, if not prevented, reduced by one of the remedies under s 87": *Wardley* (1992) 175 CLR 514 at 527.

Thus, under s 87, actual loss or damage need not have been suffered before an order is made. Nevertheless, although " [s]87 of the Act confers a wide discretionary power on courts to make remedial orders in appropriate cases to ensure a fair result" (*Kizbeau Pty Ltd v WG & B Pty Ltd* (1995) 184 CLR 281 at 298 per Brennan, Deane, Dawson, Gaudron and McHugh JJ), that power may be exercised only if a person has suffered or is likely to suffer loss or damage as a result of a contravention.

The loss or damage spoken of in ss 82 and 87 is not confined to economic loss. Section 4K makes that clear. But loss or damage caused by a contravention of the Act will often be economic loss. As was said in *Wardley* (1992) 175 CLR 514 at 527 per Mason CJ, Dawson, Gaudron and McHugh JJ, "[e]conomic loss may take a variety of forms". But central to them all, when it is said that the loss was, or will probably be, caused by misleading or deceptive conduct, is that the plaintiff has sustained (or is likely to sustain) a prejudice or disadvantage as a result of [514] altering his or her position under the inducement of the misleading conduct.

The bare fact that a contract has been made which confers rights or imposes obligations that are different from what one party represented to be the case does not demonstrate that the party that was misled has suffered loss or damage. The contrary view (which had been adopted by the Full Court of the Federal Court in *Jobbins v Capel Court Corp Ltd* (1989) 25 FCR 226 was rejected by the majority in *Wardley* (1992) 175 CLR 514 at 527 per Mason CJ, Dawson, Gaudron and McHugh JJ.

A party that is misled suffers no prejudice or disadvantage unless it is shown that that party could have acted in some other way (or refrained from acting in some way) which would have been of greater benefit or less detriment to it than the course in fact adopted. Thus, the party that is misled will have suffered loss if a chose in action which was acquired was worth less than the amount paid for it. There may well be other ways in which it might suffer loss or damage. For example, consequential loss may be suffered. But no loss of that kind was alleged in this case and, putting that kind of loss to one side, we focus only on loss said to be suffered by the making of the contract.

It is necessary, then, to determine whether the value of what was acquired is less than what was paid. How is value to be assessed? It is to be assessed objectively, not according to what either or both of the parties to the contract believed that it would obtain from the contract. That is, the value of what in fact was acquired is to be identified according to what price freely contracting, fully informed parties would have offered and accepted for it (cf *Spencer v The Commonwealth* (1907) 5 CLR 418 at 431–2 per Griffith CJ, 441 per Isaacs J). It is only by comparison with the value assessed in this way that there can be an assessment of whether the party that is misled could have obtained some greater benefit or incurred less detriment. What is important is what that party could have done, not what it might have hoped for or expected. Some examples may serve to illustrate the point.

If a person agrees to pay $50,000 for goods which the vendor falsely represents are worth $100,000 but which are, in fact, worth $50,000, what loss has the purchaser who is misled suffered by agreeing to buy (assuming no more is known)? If a person agrees to pay interest at the rate of 10% for a loan which the lender falsely represents would ordinarily command interest at a rate of 15% but which, in fact, would ordinarily command interest at 12%, what loss has the borrower who is misled suffered by agreeing to borrow (again, assuming no more is known)? And so the examples could be multiplied.

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The reason that neither of these persons suffers a loss is that viewed [515] objectively each obtained rights having a value (a value determined objectively) at least equal to what it paid for those rights. It is only if some alternative (less detrimental or more beneficial course) were available, that it can be said that the contract which was made was less valuable to the party that was misled than had been represented – for it is only then that a comparison of value can be made.

The fact that each of the misled parties in the examples given may have thought that it was to obtain some advantage from the transaction is not to the point. The contravening conduct has left the party that was misled no worse off than it was before the contravention occurred.

Nor do we accept that the extension by s 4K of loss or damage to "injury" leads to any different conclusion. It may be that "injury" in s 4K is intended to refer to injury to the person but we do not need to decide if that is so. Even if "injury" is to be given some wider meaning than personal injury, we do not accept that a person suffers injury simply because a hoped for advantage does not materialise. The central inquiry is what consequence has the contravention of the Act had on the party in question. That requires comparison between the position in fact of the party which alleges loss and the position that would have obtained had there been no contravention.

This is not to be taken as confining the operation of s 87 to cases where loss or damage has been sustained. It is not confined in that way; it applies to cases in which it is shown that a person is likely to suffer loss or damage. But the inquiry remains an inquiry about whether it is likely that as a result of the contravention the party concerned will suffer some prejudice or disadvantage. If, as we consider to be the case, the bare fact that making a contract different from what was represented is not loss or damage, something more must be shown to be likely to occur in the future before it can be said that it is likely that loss or damage will be suffered.

Ordinarily this will present the plaintiff with no difficulty. It will be rare that the difference between what was represented and what was given will not be reflected in some difference in value or other manifestation of actual loss to the party that was misled either now or in the future. But if it does not, we consider that neither s 82 nor s 87 relief is available. To the extent that the contrary was held in *Demagogue Pty Ltd v Ramensky* (1992) 39 FCR 31, we consider it to be wrong.

In reaching the conclusion that we do, we are mindful that the object of the Act is said to be "to enhance the welfare of Australians through the promotion of competition and fair trading and provision for consumer protection" (s 2). No narrow construction of the Act should be adopted. But neither should the words of the Act be stretched beyond their limit. It may be said, as a matter of abstract or intuitive assessment, that it is "wrong" if a party that has been found to have engaged in misleading or deceptive conduct does not "pay a [516] price" for its misleading. But the question is what does the Act provide?

Contraventions of Pt V of the Act are not made subject to pecuniary penalties under s 76 and contravention of s 52 is not a criminal offence under s 79. That being so, we do not consider that it runs contrary to the object of the Act to conclude that the remedies given by ss 82 and 87 should be available only to those who are worse off as a result of a contravention of the relevant parts of the Act. Some contraventions invite pecuniary penalty, others invite criminal prosecution as well. Some invite neither pecuniary penalty nor criminal prosecution. If the intention of s 87 had been to provide any of the remedies mentioned on any and every contravention of the relevant parts of the Act, there would have been no reference to loss or damage as a condition of granting relief and as the limit of the relief granted.

It follows, therefore, that the borrowers' concession that … the GIO loan at the increased margin was more beneficial to the borrowers than any other loan that was available is critical to the determination of these proceedings. It was not submitted (and there was no evidence to suggest) that any further increase in margin was to be considered. The matter was argued, at trial and on appeal both to the Full Court and to this Court, on the basis that the only relevant variation to the margin was the

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variation that was implemented on 1 August 1992, the borrowers having been given the opportunity to leave the arrangement without penalty.

Accordingly, the position of the borrowers is that they were misled into taking a loan which cost them more than was represented to them but which, even so, cost less than any other loan available to them in the market. They suffered and will suffer no loss or damage as a result of the misleading and deceptive conduct of the respondents. No order can be made under ss 82 or 87.

The appeal should be dismissed with costs.

GAUDRON J: … [502] The distinction between "expectation" loss and "reliance" loss for the purposes of the law of contract is well recognised … However, it is a distinction that is apt to mislead if transposed into other contexts. Contrary to what might be thought, the term "expectation" loss does not indicate that damages are payable simply for thwarted expectations. Rather, damages are payable for the loss involved in non-performance of the contract. Even if a contract is not susceptible of specific performance, the other party is legally entitled to expect its performance. Hence the expression "expectation loss"! (See *The Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64 at 80 per Mason CJ and Dawson J where it is said: "The award of damages for breach of contract protects a plaintiff's expectation of receiving the defendant's performance. That expectation arises out of or is created by the contract. Hence, damages for breach of contract are often described as 'expectation damages'.")

The matter may be put another way. Non-performance is, in effect, the loss of a contractual promise which, itself, is a valuable right. That loss must be compensated by an award of damages in the sum that represents the value of that right (see *The Commonwealth v Amann Aviation Pty Ltd* (1991) 174 CLR 64 at 134 per Toohey J). Moreover, other losses may be sustained in consequence of the breach and, if so, they, too, must be compensated by an award of damages. On the other hand, the law of tort confers no right over and above a right to recover damages for loss sustained in consequence of the wrongful act involved.

When regard is had to the different nature of contractual and tortious liability it is apparent that the so-called different "measure of damages" in contract and tort is no more than a convenient way of indicating that the wrong involved and, thus, the loss occasioned by a breach of contract is of a different kind from that involved in and [503] occasioned by the commission of a tort. The position is explained in *McGregor on Damages* (16th ed (1997) at 543–4; see also *Hill v Van Erp* (1997) 188 CLR 159 at 211–12 per McHugh J …:

> In contract … the wrong consists not in the making but in the breaking of the contract and therefore the plaintiff is entitled to be put into the position he would have been in if the contract had never been broken, or in other words, if the contract had been performed (referring to *Robinson v Harman* (1848) 1 Ex 850 at 855 per Parke B; 154 ER 363 at 365). The plaintiff is entitled to recover damages for the loss of his bargain. In tort, on the other hand, no question of loss of bargain can arise: the plaintiff is not complaining of failure to implement a promise but of failure to leave him alone.

Once it is appreciated that references to the "established measures of damages … [for] contract and tort", as in *Gates* (1986) 160 CLR 1 at 11 per Mason, Wilson and Dawson JJ, signify different kinds of loss and not different methods by which loss is measured, it is irrelevant to inquire as to the appropriate measure of damages for the purposes of ss 82 and 87 of the Act. Rather, the task is simply to identify the loss or damage suffered or likely to be suffered and, then, to make orders for recovery of that amount under s 82 or to compensate for or prevent or reduce that loss or damage under s 87 of the Act.

Moreover, once it is appreciated that, for the purposes of the law of contract "expectation" loss signifies the loss of a valuable right, namely, the contractual promise, it is irrelevant and quite misleading to ask whether, in the case of misleading and deceptive conduct under s 52 of the Act, ss 82 and 87 allow for "expectation" loss or "consequential" loss. It is irrelevant, because, if the

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misrepresentation is not contractual, there can be no loss of a contractual promise. It is misleading because it tends to suggest that if "expectation" loss is not recoverable, the claimant can never be compensated in an amount equivalent to that which would be payable if the representation were contractual.

Not only is it misleading to speak of "expectation" loss and "reliance" loss in the context of s 82, but there is no basis for thinking that relief under s 82 is to be confined by analogy either with actions in contract or in tort. With regard to that last matter, all [504] members of the Court are agreed. We differ only in our approach to the question whether, in the circumstances, the appellants suffered or were likely to suffer loss or damage.

In the view taken by McHugh, Hayne and Callinan JJ, the appellants did not establish that they were worse off as a result of entering into loan agreements with the GIO. Gummow J is of the view that it may be assumed that they would or would likely have been worse off but for the GIO's allowing them to elect to refinance without penalty, while Kirby J is of the view that the appellants were worse off and are thereby entitled to recovery … I am in substantial agreement with the approach taken by Gummow J …

[T]he appellants failed to establish that they had suffered any loss or damage and were, thus, not entitled to any remedy under s 82 of the Act. However, the appellants' entitlement to relief under s 87 does not [505] depend on proof of actual loss or damage. Relief may be granted under that section if a person is "likely to suffer" loss or damage. And as a matter of ordinary language, the expression "likely to suffer" imports only that loss or damage is a real chance or possibility, not that it is more likely than not …

It may be that the appellants could have put a case that, if held to their arrangements with the GIO, they either suffered or were likely to suffer loss or damage of a kind that should attract relief under s 87 of the Act. In this regard, it might have been put, for example, that it was likely that the margin might be increased so that interest was payable at a rate so much in excess of prevailing commercial rates that the appellants would then say that, had they appreciated that at the time, they would either have entered into more beneficial arrangements with other finance providers or, perhaps, not have entered into any loan arrangement at all.

It is apparent from its terms that s 87 allows for relief which is tailored to the particular case and is not confined by notions drawn from equity although, as Gummow J points out in this case, the principles which govern equitable remedies may provide guidance as to the appropriate order in a particular case (referring to *Henjo Investments Pty Limited v Collins Marrickville Pty Limited (No 1)* (1988) 39 FCR 546 at 564; *Munchies Management Pty Ltd v Belperio* (1988) 58 FCR 274 at 282–3, 288; *Akron Securities Ltd v Iliffe* (1997) 41 NSWLR 353 at 367). Had the appellants been held to their contracts, s 87 may well have authorised orders preventing loss or damage in the event that the margins were to be varied so that the interest payable exceeded prevailing rates. However … the appellants were given the opportunity to refinance without penalty. They elected not to. Not having been held to their contracts, they are not entitled to relief on the basis indicated. And as already pointed out, nor was it sought.

The appeal should be dismissed with costs.

GUMMOW J: [523] GIO provided to the borrowers what Foster J identified as "the opportunity of leaving the contract without penalty": (1996) 70 FCR 559 at 571. Those borrowers upon whom after 1 August 1992 the increased margin was imposed in a real sense suffered that state of affairs as a direct consequence of their election not to avail themselves of the opportunity provided by GIO. Their position thus differed significantly from that of the purchasers in *Demagogue Pty Ltd v Ramensky* (1992) 39 FCR 31, an authority referred to in the Full Court. There, even at the trial, the vendor, by cross-claim, sought to hold the purchasers fully to their contractual obligations and sought specific performance against them (at 36) …

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[529] [W]hat was said by this Court in *Gates* (1986)160 CLR 1 at 11–12, 14–15 (and *Kizbeau Pty Ltd v WG & B Pty Ltd* (1995) 184 CLR 281 at 290) does not determine that the measure of compensation which is recoverable in an action under s 82 is confined by analogies with tort or otherwise. The measure of damages recoverable in actions of a varied nature for which s 82 provides is not to be determined on the basis that the appropriate guide in most cases will be found by asking what would have been the measure if the common law did what it does not do, namely treat as a tort any facts which happen to give rise to an action under s 82. Analogy, like the rules of procedure, is a servant not a master.

There was obvious difficulty in classifying entry into the contracts themselves as "loss or damage" sustained at that stage by the borrowers and in providing monetary compensation for that injury as if there had been the loss of a bargain. At the times when the contracts [530] were made, there was no cheaper financing on the market … None of the borrowers suggested that he or she would not have borrowed at all if the AAA facility had been other than as represented … None said that, had the truth of the matter been told, he or she would have entered into alternative financial arrangements. At this factual level, the present case thus is to be distinguished from the situation in authorities such as *Demagogue Pty Ltd v Ramensky* (1992) 39 FCR 31 and *Akron Securities Ltd v Iliffe* (1997) 41 NSWLR 353. In those cases (where relief was obtained under s 87, not s 82), there had been a finding that, if prior to their entry into the transactions in question the applicants had been aware of the true situation, they would not have entered into the transactions …

Further, in the present litigation, it was conceded that, even with the increase in the margin, the AAA facility was more beneficial to the borrowers than any other available loan facility … Nevertheless, the focus of the borrowers' complaints with respect to the contractual terms of the AAA facility was the presence of cl 11.1 in the Conditions of Use. This did not immediately subject them to any contractual liability to pay more than a margin of 1.25 per cent. Such a liability would arise, and did in fact arise, only upon the expiration of 90 days after a notice had been served consequent upon the exercise of the power given by cl 1 1.1 to GIO. No doubt the contravention of s 52 occurred before entry by the borrowers into their respective contracts. But any injury which would found their actions under s 82, and for which it would provide a measure of compensation, was contingent or prospective until GIO acted to increase the margin rate and that increase became legally binding upon the borrowers to expand what previously had been their contractual liabilities to GIO. It follows that, on any footing, the expanded liabilities would not have crystallised until 1 August 1992 when the increased 2.25 per cent became effective …

[532] In the present case, a cause of action under s 82 would not have accrued in favour of the borrowers before 1 August 1992. However, before that date, they had been given by GIO an opportunity to escape the imposition of what otherwise would have been an increased contractual liability upon them by taking the steps specified in the GIO letter dated 21 April 1992. As a practical matter, the imposition of the higher rate upon the borrowers was the sequel to their exercise of choice not to accept the proposal made by GIO.

The "common sense" answer to the question of causation which arises under a provision such as s 82 cannot be given, as Lord Hoffmann recently has stated (*Environment Agency (formerly National Rivers Authority) v Empress Car Co (Abertillery) Ltd* [1998] 2 WLR 350 at 356–8; [1998] 1 All ER 481 at 487–8; see also *Chappel v Hart* (1998) 156 ALR 517 at 534–5, 550–1) "without knowing the purpose and scope of the rule" enacted by s 82. The borrowers appear to have approached the matter upon the footing that, there having been contravention of s 52 which induced their entry into the AAA facilities, the remedial provisions of the *TPA* might be utilised to put them in the same position as if the representations were terms of the facilities. It is true that the discretionary remedies provided by s 87 are of sufficient width that, in an appropriate case, contractual terms themselves may be varied. Section 82 stands in a different light. It confers a right of action not a discretionary remedy. The purpose and scope of s 82 is to provide compensation for the injuries sustained by contravention, in the present case, of s 52. The measure of compensation will not necessarily reflect that which would

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have been [533] the position of the borrowers if the AAA facility had not included the broad power of variation conferred by cl 11.1.

The primary judge fell into error in (a) applying s 82 to the facts of the present case on the footing that the borrowers had been justified in refusing to take advantage of the opportunity provided by GIO; and (b) providing a remedy, the effect of which was, up to the time of judgment and notwithstanding the intervening events, to treat GIO as obliged to make good its representations.

In reaching these conclusions, I have assumed that, in an appropriate case, the exercise by one party of a contractual power to increase the legal obligations of another may be an injury to the second party, which answers the description of "loss or damage" in the first sense in which that phrase is used in s 82. It will be for the second party, as an applicant under s 82, to establish the necessary causal link with the contravention of Pts IV or V and to prove the measure of compensation. In the present case, that causal link could not be demonstrated …

[536] The application of s 87 to the present case may be approached on the footing that, as indicated earlier in these reasons, the borrowers would have sustained loss or damage when the increased margin came into operation on 1 August 1992. However, in giving notice by letter dated 21 April 1992, GIO did not, in Sir George Jessel's words (*Redgrave v Hurd* (1881) 220 Ch D 1 at 13) "seek to take advantage of [its] own false statements" nor, having obtained the contracts by misleading and deceptive conduct, did GIO insist upon keeping the borrowers to those contracts. Moreover, even with the increase in the margin, the AAA facility was more beneficial to the borrowers than any other available loan facility.

In those circumstances, in respect of borrowers who declined the GIO offer, an order adding a term to their AAA facilities to the effect that the margin was fixed at 1.25 per cent for the life thereof would not be a proper exercise of the discretion conferred upon the court by s 87(1A). It would not be an appropriate measure to prevent or reduce loss or damage suffered or likely to be suffered by the borrowers by reason of the increase of the margin to 2.25 per cent with effect from 1 August 1992. The increased contractual liability of the borrowers would be the product of their own exercise of choice, not the taking by GIO of advantage of its misleading or deceptive conduct by insisting upon keeping the borrowers to the terms of their facilities.

The borrowers did not make out a case for relief, whether under s 82 or s 87(1A) of the TPA … The result is that the appeal to this court should be dismissed with costs.

[KIRBY J dissented.]

Appeal dismissed.

Discretion

[33.251] As noted, the remedies under s 237 are in the court's discretion. *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 39 FCR 546 (at [33.252]) provides examples of the factors the courts take into account when exercising their discretion under s 237. There is no reference in the section to common law or equitable forms of relief, or to the bars to rescission that exist under general law. However, in exercising its discretion, the court may seek guidance in general law principles: see *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 79 ALR 83. In *Chint Australasia Pty Limited v Cosmoluce Pty Limited* [2008] NSWSC 635, [130], Einstein J said that "[t]he power of the Court to make orders in the nature of rescission under the Trade Practices Act is guided (but not controlled by) the same

considerations as affect the availability of rescission in equity". These principles are discussed in Chapter 39.

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[33.252] *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 39 FCR 546 (Federal Court of Australia, Full Court) – Appeal from a single judge of the Federal Court of Australia.

[FACTS: Henjo Investments Pty Ltd (*Henjo*) owned a licensed restaurant business known as "The New York Deli". Henjo was lessee of the premises in which the restaurant was conducted. The seating capacity of the restaurant, as approved by the local council and stipulated in the liquor licence, was limited to 84 people. The liquor licence did not allow for seating in the bar area. However, after the opening of the restaurant, the number of seats was increased to 128, and the bar area was used as a service area with eight stools. This was done without authority from the local council or the licensing authorities. Collins Marrickville Pty Ltd (*Collins Marrickville*) negotiated to purchase the restaurant business from Henjo. The negotiations were conducted on Collins Marrickville's behalf by *Mr Collins* (a director) and *Mr James* (a chartered accountant), and on Henjo's behalf by *Mr Saade* (a director) and *Mr Le May* (a business agent). When Saade retained Le May, he signed a card, on the reverse side of which Le May had written the words "seats 128" and immediately under this the word "Licensed". Le May had received the figure of 128 seats from Saade. Later, when Collins and James went to Le May's office, he showed them the instruction card with the reference to 128 seats. At the restaurant itself Collins and James observed 128 seats, and that there were eight stools at the bar. Collins retained a solicitor, *Mr Tadd*, who was instructed to confirm that all council by-laws were complied with and to check the liquor licence. The solicitor, however, failed to make any inquiries. Collins Marrickville subsequently purchased the business for $500,000, on 2 April 1985. It only then became aware that the restaurant was being operated in a manner not permitted by law.

Clauses 6 and 7 of the contract of purchase contained an acknowledgment by the purchaser that it had not relied upon any statement, representation or warranty given on behalf of the vendor, and a provision that provided that the document constituted the whole of the contract. Clause 6 read as follows:

> The purchaser acknowledges that it accepts the premises in their present condition and state of repair, subject to any infestation and dilapidation and as a result of its own inspection of the premises. In entering into this agreement the purchaser acknowledges that it has not relied on any statement, representation or warranty by or on behalf of the vendor whether express or implied as to:
>
> (a) the premises;
>
> (b) the neighbourhood in which the premises are situated and adjoining properties;
>
> (c) the suitability for any use or purpose of the premises or any improvements erected thereon;
>
> (d) the rights and privileges (if any) pertaining to the premises;
>
> (e) any matter having or which might have an effect beneficial or otherwise on the premises.
>
> The purchaser acknowledges that the only statements, representations and warranties on behalf of the vendor are such as are expressly set out in this agreement.

Clause 7 read:

> Notwithstanding and without limiting the provisions of any other clause or special condition of this agreement the parties hereto agree that the agreement constitutes the whole of any promises, representations, warranties and undertakings and also the whole of the conditions of the sale. The parties hereto further agree that no promise, representations, warranties,

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> undertakings or conditions shall be deemed to be implied herein or to arise between the parties hereto by way of collateral or other agreement or by reason of any promise, representation, warranty or undertaking given or made by any party thereto to the other on or prior to the making of this agreement. The existence of any such implication or collateral or other agreement is hereby expressly negatived.

Collins Marrickville operated the restaurant business, but the business fared badly. The company commenced proceedings in the Federal Court on 5 August 1985, claiming that Henjo had engaged in misleading or deceptive conduct contrary to s 52 of the *Trade Practices Act 1974* (Cth) [now ACL, s 18]. During the hearing, which commenced on 11 March 1986, Collins Marrickville sought an adjournment and tried to obtain approval from the authorities to increase the approved seating. There was considerable delay, and the operation of the business was significantly changed. At the hearing before Wilcox J, which commenced on 16 April 1987, there was an absence of evidence as to the value of the business with its original restriction such as would facilitate a calculation of damages. Collins Marrickville had by then sought relief under s 87 of the TPA. Wilcox J held that Henjo had infringed s 52, ordered that the contract of sale be declared void ab initio, made other consequential orders, and an order that judgment be entered for damages, but made no provision for interest. He also held that Saade was involved in Henjo's conduct under s 75B of the Act [now ACL, s 2(1)]. Henjo and Saade appealed to the Full Court against the orders. Collins Marrickville appealed as to damages and the failure to include interest.]
LOCKHART J:

Section 52

[554] The Compact Edition of the *Oxford English Dictionary* (1987) defines the word "mislead" in its transitive sense as: "to lead astray in action or conduct; [553] to lead into error; to cause to err". "Deceive" is defined as: "to ensnare; to take unawares by craft or guile; to overcome, overreach, get the better of by trickery; to beguile or betray into mischief or sins; to mislead." This approach to determining the meanings of the terms appearing in s 52 is consistent with the approach adopted by Franki J in *Weitmann v Katies Ltd* (1977) ATPR 40-041, 17,444; (1977) 29 FLR 336, 343.

The two words, "misleading" and "deceptive", are plainly not synonymous. That is not to say that each word may not catch some of the same conduct and that there may not be some degree of overlap. "Mislead" does not necessarily involve an element of intent and it is a word of wider reach than "deceive". However, it is difficult, in my opinion, to read the word "deceive" in s 52 other than as involving some degree of moral turpitude as it does in ordinary English usage. Trickery, craft and guile, though not essential elements of liability, are typically at the heart of this [93] second element of the statutory provision directed to the protection of the public from unfair trading practices.

Misleading or deceptive conduct generally consists of representations, whether express or by silence; but it is erroneous to approach s 52 on the assumption that its application is confined exclusively to circumstances which constitute some form of representation. The section is expressed briefly, indeed tersely, in plain and simple words which, if I may be forgiven for repeating them, say simply: "a corporation shall not, in trade or commerce, engage in conduct that is misleading or deceptive or is likely to mislead or deceive." There is no need or warrant to search for other words to replace those used in the section itself. Dictionaries, one's own knowledge of the developing English language and ordinary experience are useful touchstones, but ultimately in each case it is necessary to examine the conduct, whether representational in character or not, and ask the question whether the impugned conduct of its nature constitutes misleading or deceptive conduct. This will often, but not always, be the same question, as whether the conduct is likely to mislead or deceive.

Whether there was a representation that the restaurant was licensed to seat 128 people

[33.253] [556] The card contained on its back the statement "Seats 128" and immediately underneath the word "Licensed". These statements were seen on the back of the card by both

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Mr James and Mr Collins. It must also be remembered that the words "Fully Licensed" appeared in bold print on the front window of the restaurant and were seen by both men. In my opinion the showing of the card to Mr James and Mr Collins was not conveying two discrete items of information; but was a clear statement in the circumstances that "The New York Deli" was a restaurant licensed to seat 128 people. In that sense Mr Le May communicated to Mr James and Mr Collins that the restaurant was licensed to seat 128 people.

Representation by silence

In my opinion the real complaint against the conduct of Henjo and Mr Saade in this case arises from their silence in not informing Collins Marrickville of the true position with respect to the limitations on seating capacity and the use to which the bar area could be put.

The trial judge found that Henjo owed a duty to inform Collins Marrickville, before the sale was effected, as to the true position about the number of tables and seats permitted by the council and the Licensing Court and about the bar service area and that this duty was breached …

[557] At common law, silence can give rise to an actionable misrepresentation where there is a duty upon the representor to reveal a matter if it exists, and where the other party is therefore entitled to infer that matter does not exist from the silence of the representor: *W Scott Fell & Co Ltd v Lloyd* (1906) 4 CLR 572, 577 per Griffith CJ; *Halsbury's Laws of England* (4th ed), vol 31, para 1052. The circumstances in which silence may constitute misleading conduct under the Act were referred to in *Rhone-Poulenc Agrochimie SA v UIM Chemical Services Pty Ltd* (1986) ATPR (Digest) ¶46-010; (1986) 12 FCR 477. That case established that silence may be relied on in order to show a breach of s 52 when the circumstances give rise to an obligation to disclose relevant facts: see at 53,047; 490 per Bowen CJ; at 53,048; 504 per Lockhart J; and at 53,049; 508 per Jackson J. The duty to disclose is not confined to cases where there are particular relationships, such as trustee and beneficiary or solicitor and client, principal and agent and guardian and ward. There is no useful purpose in seeking to analyse the circumstances in which the duty to disclose will arise as this must depend on the facts of each case.

In the present case the vendor sold a business knowing that it was subject to serious limitations upon its lawful seating capacity, limitations imposed by both the licensing authorities and the local council which vitally affected the business, its goodwill, takings and profitability and knowing that in fact the restaurant was being conducted contrary to law with a substantial element of overseating. The vendor's agent had given the purchaser to understand that the limitations upon the seating capacity and the limitations arising from the licensing of the restaurant were less restrictive than was in fact the case, while the manner in which the business was conducted at the time of sale supported this understanding. In my opinion these circumstances gave rise to a duty on the part of Henjo as vendor to reveal the true position to Collins Marrickville, the potential purchaser, before any contract was signed.

[558] It is no answer to say that Collins Marrickville should have made its own inquiries and that, if it had done so, it would have found out the true position: see *Redgrave v Hurd* (1881) 20 Ch D 1, 14, 17 per Jessel MR; at 23 per Baggallay LJ, in the context of the equitable right to rescind for innocent misrepresentation. It is true that Mr Collins recognised the importance of verifying the material given to him by Mr Le May about the seating capacity of the restaurant and that, had his solicitor done what he should have done, the true position would have emerged and the sale probably would not have proceeded. But these circumstances did not negate the duty to disclose which the circumstances otherwise imposed.

Reliance upon the misleading conduct

[33.254] The trial judge dealt with the defence of Henjo that no reliance was placed by Collins Marrickville upon the misleading conduct of Henjo and [96] Mr Saade. His Honour accepted that Mr Collins thought it important to check that the facts in relation to approvals of statutory authorities were as he understood them to be, that he wanted a thorough check to be made and relied upon his solicitor to make that check. His Honour found that this state of mind was not inconsistent with

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Mr Collins having also been influenced by the information originally conveyed to him by Mr Le May on behalf of Henjo which had caused him to instruct Mr James to do further work and retain Mr Tadd. His Honour said it was true that this influence would have been negated if Mr Tadd had carried out his instructions and reported the true facts; but, notwithstanding Mr Tadd's omission, the original influence, supplemented by a report of Mr James to Mr Collins, continued to operate.

It is broadly true that an applicant in an action under s 52 cannot recover damages unless he establishes that he acted on or was influenced by the conduct contravening the section: *Mister Figgins Pty Ltd v Centrepoint Freeholds Pty Ltd* (1981) ATPR 40-226, 43,059; (1981) 36 ALR 23, 48 per Northrop J. The issue of the applicant's reliance upon such conduct is however more complex than such a formulation indicates. The trial judge noted the similarity between conduct constituting deceit at common law and conduct contravening s 52, and referred to the principles which determine whether there has been inducement in actions for deceit. These principles were reviewed by Wilson J in *Gould v Vaggelas* (1985) 157 CLR 215 at 236. His Honour there observed that the inference that the applicant relied upon a material representation calculated to induce him to enter a contract might be rebutted by showing that "whether he knew the true facts or not he did not rely upon the representation." His Honour noted that the representation made "need not be the sole inducement. It is sufficient so long as it plays some part even if only a minor part in contributing to the formation of the contract." In *Neilsen v Hempston Holdings Pty Ltd* (1986) ATPR 40-686, 47,545; (1986) 65 ALR 302, 313, a case which concerned an action for damages under s 52 where misleading statements had been made to the applicant as to the occupancy rate of a motel, Pincus J held that the causal chain allowing recovery of damages under s 52 of the *Trade Practices Act* was not broken even where the applicant had failed to take reasonable care of his own interests by undertaking a proper investigation of the figures presented. These decisions support the view that recovery under s 52 is founded by the applicant's actual reliance upon the misleading or deceptive conduct of the respondent although that conduct was not the only factor in the applicant's decision to [559] enter a particular agreement, and although the applicant did not seek to verify the representations or did so inadequately and so failed to discover their falsity.

The circumstances of this case do not support the conclusion that Collins Marrickville did not in fact rely upon the misleading conduct of Mr Saade and Henjo. Their conduct not only played some part in contributing to the purchase of the business but was in fact, the major inducement. It matters not that the solicitor's failure to carry out his client's instructions prevented what may or indeed would, more likely than not, have been a different result. The fact is that reliance was placed by the purchaser upon what it assumed to be the true position as a result of the conduct of the vendor and the absence of knowledge of the true facts …

Special conditions 6 and 7

[33.255] [560] I turn now to the two Special Conditions, 6 and 7. The trial judge considered the effect of Special Conditions 6 and 7 of the contract for sale [98] and found that they did not operate to defeat a claim under s 52, whatever effect they may have in the law of contract, because an exclusion clause of that kind cannot oust the effect of the Act or deprive an applicant of remedies under it. If in fact there was misleading conduct by Henjo which induced Collins Marrickville to enter into the contract, that inducement was not negated because in the agreement itself the parties may have said to the contrary ….

[561] Irrespective of the construction of these two Special Conditions it does not matter ultimately whether the impugned conduct with which this case is concerned falls literally within them or not. Section 52 is a section in the consumer protection provisions of an Act concerned to protect the public from misleading or deceptive conduct and unfair trade practices which may result in contravention of the Act. It has been held that exclusion clauses, of which Special Conditions 6 and 7 are examples, cannot operate to defeat claims under s 52. It may be, as the judgment of Sweeney J in *PJ Berry Estates Pty Ltd v Mangalore Homestead Pty Ltd* (1984) ATPR 40-489, 45,638 suggests, that such exclusion clauses will generally be ineffective because they cannot break the nexus between the conduct in

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contravention of s 52 and the making of the agreement in issue. Where the conduct of the defendant is alleged to be fraudulent in character, then an exclusion clause will be no more effective if the action were brought in the tort of deceit in relation to conduct antecedent to the contract: *Commercial Banking Co of Sydney Ltd v RH Brown & Co* (1972) 126 CLR 337, 344, per Menzies J; *Petera Pty Ltd v EAJ Pty Ltd* (1985) ATPR 40-605 at 46,887 per Wilcox J; see also Terry, "Disclaimers and Deceptive Conduct" (1986) ABLR 478 at 486.

There are wider objections to allowing effect to such clauses. Otherwise the operation of the Act, a public policy statute, could be ousted by private agreement. Parliament passed the Act to stamp out unfair or improper conduct in trade or in commerce: it would be contrary to public policy for special conditions such as those with which this contract was concerned to deny or prohibit a statutory remedy for offending conduct under the Act. There are various judgments of judges of this court where this approach has been adopted …

Mr Saade and s 75B

[33.256] Mr Saade plainly was aware of the true position with respect to the licences and the limited numbers of tables and seats permitted by law and of the fact that the actual number of tables and seats substantially exceeded the legal limit. He was also aware of the facts relating to the bar service area and the limitations on the use to which it could be put. Mr Saade concealed these matters from Collins Marrickville, he was in control of the premises, he was responsible for all relevant licences being obtained, he signed the instructions to Mr Le May and he was responsible for the conduct of the restaurant business. He had knowledge of the relevant matters which constituted the contravention and therefore was correctly found by his Honour to have been involved in the contravention within the meaning of s 75B of the Act.

Relief

[33.257] I turn to the most difficult question in the case, namely, relief …. The primary issue is whether restitution or damages is the appropriate relief.

It is not disputed that this court has power to make orders of the kind made by his Honour in this case. The issue is whether in all the circumstances of the case it was appropriate that they be made. Five matters are central to the question of relief. First, the trial judge found that the [562] trading losses of the restaurant sustained by Collins Marrickville, except to the extent that they were increased by the loss of the bar stools, were occasioned by factors in connection with which there was no misrepresentation and that most of the losses were caused by factors which had nothing to do with the misrepresentations as to seating capacity. His Honour found that they were not "directly attributable" to the misrepresentations and ought not to be allowed.

Secondly, the trial judge found that the removal of the bar stools had an adverse effect upon the restaurant's takings and consequently upon [100] profitability but an effect that was relatively minor. His Honour assessed the contribution of the loss of the bar stools to the trading losses as being 10 per cent of the whole.

These two findings were challenged by Henjo in argument; but there is evidence to support them and no ground for disturbing them was established.

Thirdly, notwithstanding the restrictions in law upon the seating capacity of the restaurant, it has in fact been conducted, not only before, but since, the acquisition of the business by Collins Marrickville (1 May 1985), with about 128 seats. The losses which have in fact been sustained by Collins Marrickville since it took over the business cannot, therefore, be attributed to the fact that the lawful seating capacity is substantially less than 128 seats.

Fourthly, substantial changes have occurred to The New York Deli restaurant, its staff and management and the manner in which the restaurant business has been conducted by Collins Marrickville since May 1985. The changes introduced by Collins Marrickville to the conduct of the restaurant and its method of operation include the following:

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(a) the principle of self-serve from attractive display cabinets has been replaced by full waiter service;

(b) the number of staff has increased considerably, thus increasing wages;

(c) lavish displays of food have been replaced by table menu service; and

(d) food display cabinets have been removed to increase seating space.

Henjo argues that these changes are irreversible but his Honour rejected a similar submission. He accepted that the changes had occurred but did not think they afforded in themselves sufficient reason for refusing an order for restitution. I see no warrant for interfering with these findings of the trial judge; but they are matters which must be taken into account in deciding whether restitution is appropriate and must be viewed in the light of all other relevant circumstances. The business of the New York Deli has run down since its ownership passed to Collins Marrickville and the business has changed from one that was making a substantial profit into one with losses between $14 000 [and] $15 000 per month. The number of customers has declined during the past two years and the goodwill of the business must have been adversely affected. Restitution involves the handing back to the former owner of a business which has for some two years or so been in other hands and conducted in a different way, some of the differences being quite substantial. The restaurant trade is notoriously volatile.

Fifthly, Collins Marrickville did not actively prosecute this proceeding after its commencement in August 1985, and changed its course in midstream from claiming damages as its primary relief to seeking restitution.

[His Honour traced the history of the proceedings.]

[564] In my opinion it is therefore plain that the delays which have attended this case have been due principally to Collins Marrickville. Had the proceedings been prosecuted with diligence it would have been easier for the court to restore the parties to their position before the making of the contract if this had otherwise been appropriate … I have carefully considered his Honour's reasons for ordering restitution, but I have come to the conclusion that those orders cannot stand and that Collins Marrickville should be left to pursue its claim for damages …

In granting a remedy under s 87, the court is not restricted by the limitations under the general law of a party's right to rescind for breach of contract or misrepresentation. Nevertheless, in exercising its discretion under s 87, the court will consider the conduct of the parties after they had knowledge of the misleading quality of the conduct: *Mister Figgins Pty Ltd v Centrepoint Freeholds Pty Ltd* at 43,068; 60 per Northrop J. Such an approach is consistent with that adopted by the Privy Council in *Senanayake v Cheng* [1966] AC 63, 83, observing that at general law the questions for the court in determining whether to allow restitution are "whether restitutio in integrum is substantially possible and whether rescission is timely and just and fair". On this approach the court must consider all the circumstances before it in the exercise of its discretion ….

[565] It was argued on behalf of Collins Marrickville that damages would not be an adequate remedy for various reasons of which I shall mention the principal ones. It was said that damages would not protect Collins Marrickville as the wronged purchaser in respect of its continuing liability for rental outstanding under the lease and the continuing liability of Mr Collins as the guarantor of that liability. The term of the lease is for six years from 20 May 1984 terminating on 20 May 1990. The lease provides for a base rental of $157 500 for the 18 month period commencing 20 May 1984 with provision for reviews of rent at intervals of 18 months to reflect changes in the "all groups consumer price index". For the financial year ended 30 June 1987 the rent payable by Collins Marrickville was $173 643. It is plain that the remaining obligations of Collins Marrickville and of Mr Collins with respect to the remaining two years or so of the lease are substantial; but due to the time the matter has taken to reach the present position only a little over two years of the six year lease remains to run. This is a circumstance which, in my view, can adequately be taken into account in an assessment of damages.

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It was argued that, upon the making of restitution orders, inquiries could be directed or other steps taken to ensure that proper allowances are given by Collins Marrickville to Henjo for any changes which have taken place to the running of the business and which may have adversely affected its profitability or goodwill or altered its nature. Allowances of this kind would, to some extent, diminish the detriment that Henjo would otherwise suffer if it were to receive back The New York Deli; but so long has passed since [556] Collins Marrickville took over the business and so many adverse changes have occurred to the business that I do not think allowance of the kind suggested would adequately protect Henjo.

In my opinion there is no inherent problem in the court awarding damages in this case to adequately compensate Collins Marrickville for its losses.

I have considered whether the award of damages made by his Honour should stand and this litigation thus be brought to an end. There is something to be said for this view, but on balance I think that the interests of justice require that the question of damages be remitted to the trial judge or other single judge of this court for reassessment …

In support of its cross-appeal Collins Marrickville argued that the trial judge failed to allow by way of damages trading losses for the period 1 July 1986 to 20 October 1987 and failed to order that there be included in the sum for which judgment was given interest on any part of that sum. I discern no error in the approach adopted by his Honour in declining to allow the whole of the trading losses of Collins Marrickville …

It does appear that his Honour did not include in the amount for which judgment was entered any component by way of interest pursuant to s 51A of the *Federal Court of Australia Act 1976*. The effect of that section, where (as here) the cause of action is one arising after the commencement of the section, is that interest shall be awarded unless good cause is shown to the contrary. As his Honour made no contrary findings an amount should have been awarded by way of interest. As damages are to be reassessed, any entitlement can be attended to then.

In the result Collins Marrickville succeeds on the issues of liability, Henjo succeeds on the question of relief in so far as it should be confined to damages and not extended to orders for restitution; but Henjo fails in its [567] argument that there should be no retrial on the question of damages and that the damages should stand as presently assessed. Collins Marrickville fails in its cross-appeal except on the question of interest.

[BURCHETT J delivered a short judgment in which he agreed with Lockhart J. FOSTER J delivered a judgment in which he expressed agreement with Lockhart J on the issues relating to liability but dissented on the issue of relief.]

[33.258] Note

1. It is arguable that Henjo Investments' conduct (ie the handing over of the card by Mr La May) was misleading even if one does not consider Henjo Investments silence in not informing Collins Marrickville of the true position with respect to the limitations on seating capacity and the use to which the bar area could be put. However, the fact that the two statements contained on the card were literally true led the court to consider Henjo Investments' silence regarding the licensed capacity. In the recent High Court case of *Miller & Associates Insurance Broking Pty Ltd v BMW Australia Finance Limited* [2010] HCA 31; (2010) 241 CLR 357 French CJ noted, at [23]:

> Reasonable expectation analysis is unnecessary in the case of a false representation where the undisclosed fact is the falsity of the representation. A party to precontractual negotiations who provides to another party a document containing a false representation which is not disclaimed will, in all probability, have engaged in misleading or deceptive conduct. When a document contains a statement that is true, non-disclosure of an important qualifying fact will be misleading or deceptive if the recipient would be misled, absent such disclosure, into believing that the statement was complete. In some cases it might not be necessary to invoke non-disclosure at all where a statement which is literally true, but incomplete in some material respect, conveys a false representation that it is complete.

2. Section 137B of the CCA (which is contained in the Part of the CCA that applies the ACL as a law of the Commonwealth) requires the reduction of an award of damages under s 236(1) where the loss or damage in question has been caused partly by the claimant's failure to take reasonable care and partly by conduct that contravenes s 18. Section 137B only applies to claims for damages in respect of economic loss or damage to property caused by a contravention of s 18 (s 137B(a), (b)). The provision does not apply where the respondent intentionally or fraudulently caused the loss or damage (s 137B(d)).

   Where the criteria are met, and the loss has been caused partly by the claimant's failure to take reasonable care and partly as a result of conduct in contravention of s 18, then:

   > [T]he amount of loss or damage that the claimant may recover under subsection 236(1) of the *Australian Consumer Law* is to be reduced to the extent to which a court thinks just and equitable having regard to the claimant's share in the responsibility for the loss or damage.

   Where those criteria are not met, and the claimant's failure to take reasonable care does not sever the causal connection between the misleading conduct and the loss, the claimant will be entitled to recover the full amount of the loss from the respondent.

   If *Henjo* were heard today, s 137B would not affect the outcome because it does not apply where the respondents intentionally or fraudulently caused the loss or damage. However, even if Henjo Investments had not acted fraudulently, s 137B may still not have affected the outcome. The predecessor to s 137B was only enacted in 2004 and its scope remains unclear. The provision is clearly applicable where the applicant's failure to take care is independent of the misleading conduct. It remains to be seen whether the applicant's damages will be reduced where he or she has failed to take reasonable care to discover the falsity of a respondent's representation.

3. The application laws of the States and Territories do not contain a provision equivalent to s 137B of the CCA. Thus, damages cannot be reduced in the manner described under the State and Territory application laws. An applicant concerned about the possibility of having his or her damages reduced on the basis of a failure to take reasonable care would therefore be advised to bring a claim under the State or Territory application laws.

4. Part VIA of the CCA provides for the apportionment of damages awarded under s 236 of the ACL where economic loss or damage to property has been caused by the acts or omissions of two or more persons acting independently or jointly. Similar provisions apply to actions for damages under the State and Territory application laws.

These provisions would not apply on the facts of *Henjo* because the misleading conduct was intentional. However, if *Henjo* were heard today and Collins Marrickville had innocently engaged in the misleading conduct, Collins Marrickville could argue that the losses suffered by Henjo should be apportioned between itself and the negligent solicitor.

CAUSATION

[33.265] An applicant for relief under s 236 or s 237 must establish a causal link between the contravening conduct and the loss suffered (or the likelihood of loss under s 237). Both sections refer to loss "*by* conduct" in contravention of a provision of the ACL. The word "by" connotes a causal requirement and means in effect "by reason of" or "as a result of". Most of the cases dealing with causation concern applicants who enter contracts following misleading conduct. In that context, as under the general law relating to misrepresentation, causation is established by proving actual reliance on the misleading conduct in entering into the contract. In interpreting and applying this statutory notion of causation, the courts have drawn by way of analogy on common law principles of causation, subject to the context and purpose of the statute: see *Marks v GIO Australia Holdings Ltd* [1998] HCA 69; (1998) 196 CLR 494, at [33.250]. The "but for" test of causation may be invoked however it is no longer regarded as a comprehensive or an exclusive test.

As in the case of misrepresentation and duress at common law (see [32.90] and [34.40] respectively), the wrongful conduct under the ACL need not be the *sole* cause of the loss. A person who establishes loss suffered in actual reliance on misleading conduct, for example, will not be denied relief simply because other influences were at work, or because he or she would have incurred the loss even in the absence of the misleading conduct. It is, however, possible for an established chain of causation to be severed by a subsequent significant cause – sometimes termed a *novus actus interveniens*.

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[33.270] *Henville v Walker* [2001] HCA 52; (2001) 206 CLR 459 (High Court of Australia) – Appeal from the Supreme Court of Western Australia, Full Court.

[FACTS: The *appellant* (Mr Henville, an architect) purchased land in Albany (the View Street property) with the aim of developing a block of three units. In deciding to purchase the land and undertake the project he was influenced by two factors. Firstly, he relied on representations by the *respondent*, the vendor's agent (Mr Walker), regarding "a huge void" in the market for quality units in Albany and the anticipated *selling price* of the units within six months of going on the market as $250,000 per unit realising a total of $750,000. These representations involved a substantial overestimation and constituted misleading conduct. Secondly, the appellant relied on his own feasibility study for an estimate of the *cost* of the proposed development. This estimate was careless and substantially underestimated the cost of the development. He estimated the total cost of the project would be $552,000, of which $315,000 was referable to the cost of construction of the units and $12,000 referable to interest payments on bank loans.

The appellant would not have proceeded with the project unless he believed that it was likely to realise a profit of at least $100,000. In fact, the construction costs turned out to be $461,000, and the interest payments $160,000. The overall cost came to $864,846. When the units were sold, although they were well designed and built, they realised only $545,000. After this sum was subtracted from the total expenditures incurred by the appellant, an overall loss of $319,846.51 was revealed. The

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appellant claimed this sum from the respondent, bringing his claim under s 82 of the *Trade Practices Act 1974* for contraventions of s 52 [now ACL, s 236 and s 18 respectively].

The trial judge (Anderson J) allowed recovery, but not of $319,846.51 He assessed damages at $205,000, being the difference between the represented sale price ($750,000) and the actual sale price ($545,000). The Full Court allowed an appeal. It held that *no* damages were recoverable as there was no causal connection between the respondent's misleading conduct and the appellant's loss: the appellant was the author of his own misfortune. The appellant appealed to the High Court.]

MCHUGH J: [489] This Court's decision in *Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514 established that the term "by" in s 82 invokes the common law concept of causation. In *Wardley*, Mason CJ, Dawson and Gaudron JJ and I said (at 525):

> The statutory cause of action arises when the plaintiff suffers loss or damage "by" contravening conduct of another person. "By" is a curious word to use …. But the word clearly expresses the notion of causation without defining or elucidating it. In this situation, s 82(1) should be understood as taking up the common law practical or common-sense concept of causation recently discussed by this Court in *March v Stramare (E & M H) Pty Ltd* (1991) 171 CLR 506, except in so far as that concept is modified or supplemented expressly or impliedly by the provisions of the Act. Had Parliament intended to say something else, it would have been natural and easy to have said so.

But this does not mean that common law conceptions of causation should be rigidly applied without regard to the terms or objects of the Act. Section 82 now applies to the contravention of any provision of Pts IV, IVB or V, or s 51AC of the Act. In *Marks v GIO Australia Holdings Ltd*, Hayne and Callinan JJ and I pointed out that the section can apply to many different kinds of cases, not just those where a breach of s 52 is alleged: (1998) 196 CLR 494 at 509 (see also at 528 per Gummow J). Moreover, the objects of the Act indicate that a court should strive to apply s 82 in a way that promotes competition and fair trading and protects consumers (s 2 of the Act states that the objective of the Act is "to enhance the welfare of Australians through the promotion of competition and fair trading and provision for consumer protection"). The width of the potential application of s 82 and the objects of the Act tell against a narrow, inflexible construction of the section (*Marks v GIO Australia Holdings Ltd* (1998) 196 CLR 494 at 515 per McHugh, Hayne and Callinan JJ, 528–9 per Gummow J, where his Honour referred to statements of Lockhart J in *Janssen-Cilag Pty Ltd v Pfizer Pty Ltd* (1992) 37 FCR 526 at 529–30, to the effect that there was a need for flexibility in the rules laid down regarding s 82).

No doubt in most cases, applying common law conceptions of causation will be sufficient to answer the issues posed by s 82 in its application to [490] contraventions of the Act. But care must be taken to avoid a mechanical application of those conceptions to issues arising under the section. In *Elna Australia Pty Ltd v International Computers (Aust) Pty Ltd (No 2)* (1987) 75 ALR 271 at 279–80, Gummow J pointed out:

> [I]t would be an error to translate automatically to the particular statute what appeared the closest analogue from the common law "rules" as to causation. It is rather a question of statutory construction … Thus, in construing s 82 it is appropriate to bear in mind such matters as the scope and purpose of Pts IV and V … [and] the wide range of subject-matters dealt with in Pts IV and V but all linked to s 82 …

The common law concept of causation recognises that conduct that infringes a legal norm may be causally connected with the sustaining of loss or damage even though other factors may have contributed to the loss or damage: *Grant v Sun Shipping Co Ltd* [1948] AC 549 at 563; *Gould v Vaggelas* (1985) 157 CLR 215 at 236, 250–1; *March v Stramare (E & M H) Pty Ltd* (1991) 171 CLR 506 at 513; *Medlin v State Government Insurance Commission* (1995) 182 CLR 1 at 7. Every event is the product of a number of conditions that have combined to produce the event. Some philosophers draw a distinction between a condition that is necessary only and a cause that is both necessary and sufficient to produce the event: Anderson, *Studies in Empirical Philosophy* (1962), at 128–31.

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The common law has avoided the technical controversies inherent in the logic of causation. Unlike science and philosophy, the common law is not concerned to discover universal connections between phenomena so as to enable predictions to be made. The common law concept of causation looks backward because its function is to determine whether a person should be held responsible for some past act or omission. Out of the many conditions that combine to produce loss or damage to a person, the common law is concerned with determining only whether some breach of a legal norm was so significant that, as a matter of common sense, it should be regarded as a cause of damage. As Lord Wright pointed out: "The law cannot take account of everything that follows a wrongful act … In the varied web of affairs, the law must abstract some consequences as relevant not perhaps on grounds of pure logic but simply for practical reasons": *Liesbosch Dredger (Owners of) v Owners of SS Edison* [1933] AC 449 at 460; see also Windeyer J in *Kavanagh v The Commonwealth* (1960) 103 CLR 547 at 584: "Law must, for its purposes, extract one or more circumstances out of the whole complex of antecedent conditions of an event as its cause."

[491] More than once in recent years, judges have pointed out that the issue of causation cannot be divorced from the legal framework that gives rise to the cause of action: *Environment Agency v Empress Car Co (Arbertillery) Ltd* [1999] 2 AC 22 at 29; *Chappel v Hart* (1998) 195 CLR 232 at 255. In *Barnes v Hay* (1988) 12 NSWLR 337 at 353, Mahoney JA said:

> [T]he determination of a causal question involves, in my opinion, a normative decision as to whether, for the purposes of the case, the precedent act for which the defendant is responsible should be seen as causal of the plaintiff's loss. And, in my opinion, that evaluation is made, not by a "test" or "guide" such as the "but for" test, but by a functional evaluation of the relationship and the purposes and policy of the relevant part of the law …

In *Environment Agency v Empress Car Co (Arbertillery) Ltd* [1999] 2 AC 22 at 29, Lord Hoffmann pointed out that common sense answers to questions of causation will differ according to the purpose for which the question is asked. Furthermore, not only may there be different answers to questions regarding causation when attributing responsibility to different people under different rules, but there may be different answers when attributing responsibility to different people under the same rule: at 30. In *Chappel v Hart*, Gummow J referred to his Lordship's statements in order to highlight the fact that the making of value judgments and the infusion of policy considerations may temper issues of causation: (1998) 195 CLR 232 at 256; see also at 238 per Gaudron J, 243 per McHugh J, 269–70 per Kirby J.

In some situations, the legal framework may require a finding that, despite a causal connection in a physical sense between the breach and damage, no causal connection exists for legal purposes. In other situations, the legal framework may require a finding that a causal connection exists even though no more appears than that the damage followed after breach of a legal norm.

In the first class of case, some act of the defendant may have set in train, or some omission of the defendant may have failed to set in train, a series of physical events that resulted in or could have avoided damage to another person or property. In this situation, the damage occurred because, given the act or omission, the laws of nature dictated the result. The physical connection between the defendant's act or omission and the damage suffered, and the materiality of the [492] connection is usually apparent, although often enough it will require expert evidence to demonstrate the connection. In this situation, questions of causation usually present no difficulty, although questions of remoteness of damage may do so. Exceptionally, however, the policy or rationale of the legal norm that has been breached will require the court to disregard the physical connection and to make a finding of no causal connection.

Thus in *Gorris v Scott* (1874) LR 9 Ex 125, in the course of a voyage on the defendant's ship, the plaintiff's sheep were washed overboard because the defendant neglected his statutory duty to provide pens on the deck of the ship. The action was dismissed because the statute was aimed at preventing disease and was not directed to the events that had happened. Thus in spite of the existence of a breach of duty that resulted in damage to the plaintiff, there was no relevant causal

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connection because the damage was outside the contemplation of the statute. Similarly, in *Close v Steel Company of Wales Ltd* [1962] AC 367, the defendant, in breach of its duty, had failed to fence a dangerous drilling machine. The plaintiff was injured when the drill bit fragmented. His action failed because the House of Lords held that the duty to fence was limited to keeping the worker from coming into contact with the dangerous machinery and did not extend to protecting the worker from injury caused by ejected pieces of the machine (cf Lord Simmonds in *Nicholls v F Austin (Leyton) Ltd* [1946] AC 493 at 505: "The fence is intended to keep the worker out, not to keep the machine or its product in.").

In the second class of case, the damage will not have occurred because of the laws of nature but because a person has acted to his or her detriment by reason of or following some conduct of the defendant. The conduct may be an act, an omission, a statement or a suggestion. But it will not be regarded as causally connected with the detriment if it provides no more than the reason why the person acted to his or her detriment. If the defendant intended the person suffering a detriment to act in the general way that he or she did, the common law will invariably hold that a causal connection existed between the conduct and the detriment. But if the conduct merely provides the reason why the person acted, it will not be sufficient to establish a causal connection unless the purpose of the legal norm that the defendant has breached is to prevent persons suffering detriment in circumstances of the kind that occurred. If a broker negligently advises a client to retain shares because they are a good investment, the broker will be liable for the loss sustained in retaining those shares. But if, having received that advice, the client decides to buy more shares, the broker will not be liable for the further losses unless the terms of the [493] original retainer imposed a duty on the broker to advise in respect of further purchases.

If Mr Henville had purchased the View Street land merely because he had heard that Mr Walker was claiming that there was a big demand for quality home units, a difficult question of causation would arise. Its answer would depend on the purpose of ss 52 and 82 of the Act. Are they intended to provide a remedy for any person who acts to his or her detriment after hearing of a false or misleading statement made in trade or commerce? Or are they directed to providing a remedy only in respect of conduct that is directed at individuals or a section of the public (cf *Peek v Gurney* (1873) LR 6 HL 377 at 412–13 per Lord Cairns; *Commercial Banking Co of Sydney Ltd v RH Brown & Co* (1972) 126 CLR 337 at 343 per Menzies J).

The corollary of the "common sense" approach to causation, as Mahoney JA pointed out in Barnes, is that it is not reducible to a "test" that can be applied across the spectrum of factual situations that arise from case to case. Nevertheless, the course of judicial reasoning in this area has produced certain principles that assist tribunals of fact in deciding causation issues.

If the defendant's breach has "materially contributed" (*Bonnington Castings Ltd v Wardlaw* [1956] AC 613 at 620 per Lord Reid) to the loss or damage suffered, it will be regarded as a cause of the loss or damage, despite other factors or conditions having played an even more significant role in producing the loss or damage. As long as the breach materially contributed to the damage, a causal connection will ordinarily exist even though the breach without more would not have brought about the damage. In exceptional cases, where an abnormal event intervenes between the breach and damage, it may be right as a matter of common sense to hold that the breach was not a cause of damage. But such cases are exceptional.

Of particular importance to the present case is the long-standing recognition of the possibility that two or more causes may jointly influence a person to undertake a course of conduct: *Macleay v Tait* [1906] AC 24; *De la Bere v Pearson Ltd* [1908] 1 KB 280; *McGhee v National Coal Board* [1973] 1 WLR 1; [1972] 3 All ER 1008; *Gould v Vaggelas* (1985) 157 CLR 215; Hart & Honore, *Causation in the Law*, 2nd ed (1985) at 193. In separate judgments in *Gould v Vaggelas* (1985) 157 CLR 215, Wilson and Brennan JJ emphasised that a representation need not be the sole inducement in sustaining the loss. If "it plays some part even if only a minor part", in contributing to the course of action taken – in that case the formation of a contract – a causal connection will exist: (1985) 157 CLR 215 at 236 per

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Wilson J, 250–1 per Brennan J. See also *San Sebastian Pty Ltd v The Minister* (1986) 162 CLR 340 at 366 per Brennan J.

This principle has been applied in cases where a complicating factor [494] is the intervention of some act or decision of the plaintiff or a third party that allegedly constitutes a more immediate cause of the loss or damage. Thus, in *Medlin v State Government Insurance Commission* (1995) 182 CLR 1 at 66–7 Deane, Dawson, Toohey and Gaudron JJ said:

> The ultimate question must, however, always be whether, *notwithstanding the intervention of the subsequent decision*, the defendant's wrongful act or omission is, as between the plaintiff and the defendant and as a matter of commonsense and experience, properly to be seen as having caused the relevant loss or damage. Indeed, in some cases, it may be potentially misleading to pose the question of causation in terms of whether an intervening act or decision has interrupted or broken a chain of causation which would otherwise have existed. An example of such a case is where the negligent act or omission was itself a direct or indirect contributing cause of the intervening act or decision. (Emphasis added)

Similarly, in respect of claims under s 82, courts have accepted that loss or damage is causally connected to a contravention of the Act if a misrepresentation was one of the causes of the loss or damage sustained by the claimant …

In evidence, Mr Henville admitted that, if he had believed that the project would make a profit of less than about $100 000, he probably would not have gone ahead with it because "it wouldn't have been worth it, risk or anything else". His belief that the project would make a profit of more than $100 000 was the product of two errors. First, he erroneously miscalculated the cost of constructing the units. Secondly, he was induced by Mr Walker's misrepresentations to believe erroneously that the units would be sold reasonably quickly for not less than $750 000. Both errors were fundamental to his belief that the [495] project would return a handsome profit. Mr Walker's misrepresentations, therefore, directly induced Mr Henville to proceed with the project and its resultant loss. Without them, the project would not have gone ahead …

The fact that Mr Henville chose a design that was ultimately too expensive did not deny or neutralise the operative effect of Mr Walker's misrepresentations. The misrepresentations remained operative at all material times. Indeed, they were obviously operating after the units had been completed and played a decisive part in the initial price for which the units were marketed.

Contrary to the conclusion of the Full Court, Mr Walker's misrepresentations were causally connected with the loss sustained by Mr Henville.

The Full Court agreed with the trial judge that Mr Walker's misleading conduct continued to play a part in inducing Mr Henville to proceed with the development of the View Street property even after he … had completed the feasibility study. Yet it allowed Mr Walker's appeal on the basis that the feasibility study was the sole inducement of Mr Henville's decision to go ahead. The Full Court's decision therefore appears to contain a logical inconsistency between the facts as found and its ultimate conclusion …

[501] This Court has addressed the question of assessment of damages under s 82 on several occasions: see for example *Gates v City Mutual Life Assurance Society Ltd* (1986) 160 CLR 1; *Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514; *Kizbeau Pty Ltd v W G & B Pty Ltd* (1995) 184 CLR 281; (1998) 196 CLR 494. The Court has concluded that in most cases the *Marks v GIO Australia Holdings Ltd* measure of damages in tort is the appropriate guide in determining an award of damages under s 82: *Kizbeau Pty Ltd v WG & B Pty Ltd* (1995) 184 CLR 281 at 290. However, in assessing damages under s 82, courts are not bound to choose between the measure of damages in deceit or other torts or contract: *Gates v City Mutual Life Assurance Society* (1986) 160 CLR 1 at 14. In *Marks v GIO Australia Holdings Ltd* (1998) 196 CLR 494, the Court said that the central issue under s 82 is to establish a causal connection between the loss claimed and the contravening conduct (see *Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514 at 525). Once such a connection is found to exist,

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nothing in s 82 suggests that the recoverable amount should be limited by drawing an analogy with contract, tort or equitable remedies although they will usually be of [502] great assistance: (1998) 196 CLR 494 at 503–4 per Gaudron J, 510 per McHugh, Hayne and Callinan JJ, 529 per Gummow J, 549 per Kirby J. As Gummow J said in *Marks* (at 529), "[a]nalogy, like the rules of procedure, is a servant not a master".

Indeed, general principles for assessing damages may have to give way altogether in particular cases to solutions best adapted to give the injured claimant an amount which will most fairly compensate for the wrong suffered: *Johnson v Perez* (1988) 166 CLR 351 at 355–6 per Mason CJ.

In this case, the most appropriate approach is to identify what Mr Henville has suffered by way of prejudice or disadvantage in consequence of altering his position by reason of the breach of the Act: *Toteff v Antonas* (1952) 87 CLR 647 at 650; referred to, inter alia, in *Wardley Australia Ltd v Western Australia* (1992) 175 CLR 514 at 526; *Marks v GIO Australia Holdings Ltd* (1998) 196 CLR 494 at 512. The measure of that loss is not determined by reference to what he would have received if Mr Walker's representations had been true. As the New Zealand Court of Appeal pointed out in *Cox & Coxon Ltd v Leipst* [1999] 2 NZLR 15, a case concerned with s 43(1) of the *Fair Trading Act 1986 (NZ)*, a representation can give rise to a claim for a lost benefit or loss of expectation only where there is an obligation to perform the representation. The Court of Appeal held that s 43(1) was directed against the making of a false representation, as opposed to the failure to perform it. Similarly, the wrong which s 52 of the Act prohibits is the making of, not the failure to honour, the false representation. By entering upon the project, Mr Henville has lost $319 846.51. If Mr Walker had not made representations in breach of the Act, none of this loss would have occurred. The loss suffered is therefore directly attributable to a contravention of the Act even though other factors played their part in bringing about the loss.

If the action were one of deceit at common law, I see no reason why, subject to the issue of remoteness, the whole of the loss of $319 846.51 would not be recoverable. At common law, the established rule is that in an action for deceit, the plaintiff "is entitled to recover as damages a sum representing the prejudice or disadvantage he [or she] has suffered in consequence of his [or her] altering his [or her] position under the inducement of the fraudulent misrepresentations": *Toteff v Antonas* (1952) 87 CLR 647 at 650. In an action for damages for deceit, the damages are measured by reference to how much worse off the plaintiff is as a result of being fraudulently induced to take the course of action that he or she did: *Toteff v Antonas* (1952) 87 CLR 647 at 650; *Gates v City Mutual Life Assurance Society Ltd* (1986) 160 CLR 1 at 12. The loss that the plaintiff can recover [503] includes consequential losses flowing directly from the misrepresentation (*Potts v Miller* (1940) 64 CLR 282 at 297–8; see also *Doyle v Olby (Ironmongers) Ltd* [1969] 2 QB 158 at 167; *Gates v City Mutual Life Assurance Society Ltd* (1986) 160 CLR 1 at 12) including losses from opportunities forgone: *Doyle v Olby (Ironmongers) Ltd* [1969] 2 QB 158 at 167; *Esso Petroleum Co Ltd v Mardon* [1976] QB 801 at 820–1, 828–9; *Gates v City Mutual Life Assurance Society Ltd* (1986) 160 CLR 1 at 13.

Here the misrepresentations induced Mr Henville to enter into a contract and to construct units under the belief that the project would produce a substantial profit. If there had been no misrepresentations, Mr Henville would not have embarked on the course that he did and the loss that he suffered would have been avoided. That being so, his loss was a direct result of the misrepresentations and would have been recoverable in an action for damages for deceit. Moreover, I think that in a general way the loss was a reasonably foreseeable consequence of the misrepresentations. Although Mr Henville badly underestimated the cost of constructing the units, nothing in the findings of Anderson J or the Full Court demonstrates that any of the costs were unreasonably incurred. Matters such as the project being delayed with a consequential increase in costs and interest rates rising are matters that in the ordinary course of a development are reasonably foreseeable.

Nor do I see any reason why the principles applicable in an action for deceit at common law should not be applied in the present case. The purposes of the Act include promoting fair trading and protecting consumers from contraventions of the Act. Those purposes are more readily achieved by

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ensuring that consumers recover the actual losses they have suffered as the result of contraventions of the Act. Where a person contravenes the Act and induces a person to enter upon a course of conduct that results in loss or damage, an award of damages that compensates for the actual losses incurred in embarking on that course of conduct best serves the purposes of the Act and should ordinarily be awarded. In *Elna Australia Pty Ltd v International Computers (Aust) Pty Ltd (No 2)* (1987) 16 FCR 410 at 418–19, Gummow J said, correctly in my opinion:

> Wrapped up within s 82 are … concepts the common law would describe by the terms "causation" and "remoteness" and "measure of damages" …. [I]t would be an error to translate automatically to the particular statute what appeared the closest analogue from the common law "rules" as to causation. It is rather a question of statutory construction …. Thus, in construing s 82 it is appropriate to bear in mind such matters as the scope and purpose of Pts IV and V … the wide range of subject-matters dealt with in Pts IV and V but all linked to s 82 … the absence of any direct provision to [504] apportion responsibility for loss or damage … and the apparent telescoping of what to the common law would be issues of causation, remoteness and measure of damages.

Given the long history of the common law's recognition of the concept of remoteness in assessing damages in contract and tort and its relationship with the issue of causation, it seems proper to read the term "by" in s 82 as including the concept of remoteness. By remoteness, I mean that the loss or damage was not reasonably foreseeable even in a general way by the contravener. Remoteness in this sense is very different from the concept of remoteness formulated by Winn LJ in *Doyle v Olby (Ironmongers) Ltd* [1969] 2 QB 158 at 168 and cited and apparently approved by Lord Browne-Wilkinson in *Smith New Court Securities Ltd v Citibank NA* [1997] AC 254 at 264. In *Doyle*, Winn LJ said (at 168) that in an action for fraud "no element in the consequential position can be regarded as attributable loss and damage if it be too remote a consequence". But he then went on to say (at 168): "[I]t will be too remote not necessarily because it was not contemplated by the representor, but in any case where the person deceived has not himself behaved with reasonable prudence, reasonable common sense, or can in any true sense be said to have been the author of his own misfortune."

With great respect, this passage with its references to "reasonable prudence" and "reasonable common sense" confuses remoteness with contributory negligence and causation.

There was a time in the common law when contributory negligence was seen as negativing the causal connection between the breach of duty and the damage suffered. That is why, at common law before the enactment of the Hilary Term Rules of 1834, contributory negligence could be raised under the plea of not guilty: *Astley v Austrust* (1999) 197 CLR 1 at 33. Moreover, until the enactment of the apportionment statutes, the common law illogically, and for no justifiable reason in legal principle or policy, treated contributory negligence as a complete defence to some actions in tort. Despite that rule, it has long been established that "contributory negligence is concerned with the failure of the plaintiff to protect his or her person or property against damage and not with whether the failure contributed to the *accident*" (at 11, original emphasis). There may, of course, be cases where the injured person's failure to take care is such that it can be characterised as the sole cause of the loss or damage suffered. In that event, there will be no causal connection between the breach of [505] the Act and the "loss or damage" to which s 82 refers. But it has nothing to do with remoteness of damage.

In my opinion, the remarks of Winn LJ in *Doyle* are wrong in principle. They should not be followed even in actions for fraud, the class of action with which *Doyle* was concerned. And they certainly should not be regarded as having any authority in respect of actions concerned with s 82 of the Act.

Nothing in the common law, in s 52 or 82 or in the policy of the Act supports the conclusion that a claimant's damages under s 82 should be reduced because the loss or damage could have been avoided by the exercise of reasonable care on the claimant's part. There is no ground for reading into s 82 doctrines of contributory negligence and apportionment of damages. No doubt, if part of the loss or damage would not have occurred but for the unreasonable conduct of the claimant, it will

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be appropriate in assessing damages under s 82 to apply notions of reasonableness in assessing how much of the loss was caused by the contravention of the Act: *Tefbao Pty Ltd v Stannic Securities Pty Ltd* (1993) 118 ALR 565 at 575 per Hodgson J. But that proposition is concerned with the items that go to the computation of the loss. As I have pointed out, nothing in the judgments of the courts below shows that there was any unreasonable conduct on the part of Mr Henville in incurring costs or raising revenue.

Underlying the notion that Mr Henville should not recover the actual loss that he incurred by reason of Mr Walker's contravention of the Act seems to be the assumption that he was partly to blame for his misfortune. Given that assumption, Anderson J appears to have concluded that Mr Henville should not recover all the actual loss because, even if the representation had been true, he would still have sustained loss. Rather than compensate Mr Henville for his actual loss, Anderson J assessed the "loss" as if the claim was one for breach of warranty. His Honour said:

> A representation that a development will be worth a certain amount when completed has no capacity to cause losses at large …. Losses which are really down to extravagant design, to the lack of a proper costing of the proposed design, to the lack of financial resources to complete the development embarked on and to the failure to get the project finished in a reasonable time are not losses suffered by a misrepresentation as to the market value which the development will have on completion.

His Honour ruled out the amount that the units actually cost to build as an appropriate basis on which to measure Mr Henville's recoverable loss. Instead, his Honour found that the upper limit of the primary loss should be calculated by reference to a price of $250 000 per unit. Mr Henville had proceeded with the development because he had been [506] told, and believed, that the units would each fetch at least that amount. His Honour thought that limiting the primary loss in this way brought to account in Mr Walker's favour matters such as careless costing, inadequate planning, insufficient funding and excessive delays. It also placed at Mr Henville's feet: "the losses occasioned by the weaknesses in the plaintiff's own feasibility study pursuant to which the plaintiff judged that the particular development which he designed could be undertaken profitably on a gross selling price of $250 000 per unit."

Anderson J, therefore, awarded damages against Mr Walker of $205 000, being the difference between $750 000 and the aggregate sale prices achieved at auction ($545 000). His Honour also awarded interest to be calculated only from 1 June 1997 in order to allow a reasonable period for the sale of the units at the represented price to elapse.

Given its findings as to causation, it was strictly unnecessary for the Full Court to address the issue of damages. Nevertheless, it held that the approach of Anderson J had no justifiable basis in law. In my opinion, the Full Court was correct in so holding. With respect, the approach of Anderson J overlooks one of the fundamental purposes of the Act – which is to protect consumers from being induced to enter into agreements and transactions by false or misleading conduct. The loss to a consumer from acting on such an inducement will usually be greater than the amount recoverable by treating the representation as a warranty. An award of damages under s 82 will therefore ordinarily be inadequate to achieve one of the main purposes of the Act unless the claimant is compensated for what he or she has "suffered in consequence of his [or her] altering his [or her] position under the inducement of the fraudulent misrepresentations": *Toteff v Antonas* (1952) 87 CLR 647 at 650.

Mr Henville's loss was not confined to the difference between what was represented as the selling prices of the units and their sale prices. Mr Walker's contravention of the Act induced Mr Henville to enter upon a course of conduct that resulted in a greater loss than that difference. To fail to compensate him for that loss does not accord with the purposes of the Act.

[507] However, the approach of the Full Court was also erroneous. Their Honours said that the cost overruns and delays were cumulative causes of Mr Henville's overall loss in the sense that each independently contributed thereto. Since it was not impossible to segregate the effect of those

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losses, it was necessary for Mr Henville to prove their quantum. In the absence of evidence enabling such losses to be identified and assessed, there was no way to establish the amount of the loss that was attributable to Mr Walker's misleading conduct. Mr Henville had therefore failed to prove any entitlement to damages.

However, in the absence of evidence that the cost overruns and delays were unreasonable or reasonably unforeseeable, the lack of evidence enabling these costs to be identified could not affect Mr Henville's right to be compensated for his actual loss. It is unnecessary, therefore, to determine whether Mr Henville was correct in contending that in any event Mr Walker bore at least an evidentiary onus of proving the costs of the overruns and delays: *Vyner v Waldenberg Bros Ltd* (1945) 61 TLR 545 at 546; *Betts v Whittingslowe* (1945) 71 CLR 637 at 648–9; *Watts v Rake* (1960) 108 CLR 158 at 160; *Medlin v State Government Insurance Commission* (1995) 182 CLR 1 at 22; *Chappel v Hart* (1998) 195 CLR 232 at 273.

Arguably, once a plaintiff demonstrates that a breach of duty has occurred that is closely followed by damage, a prima facie causal connection will be established. It is then for the defendant to show that the plaintiff should not recover damages. In the words of Dixon CJ in *Watts v Rake* (1960) 108 CLR 158 at 160 it is the defendant who must disentangle, so far as possible, the various contributing factors.

In this Court, Mr Walker has put forward two amounts as representing the damages to which Mr Henville was entitled if he succeeded on the causation issue – (1) $125 000 and (2) $200 512.51. It is unnecessary to refer to the details of these claims. Both of them were variations of the general approach of the trial judge and the reasoning that gave rise to each figure was incorrect in principle.

In my opinion, Mr Henville was entitled to damages for his actual loss. However in this Court, he sought no more than that the award of damages made by Anderson J should be reinstated. Since that was a lesser sum than that to which I think he was entitled, it is proper to reinstate his Honour's award.

The appeal should be allowed and the orders of Anderson J reinstated.

[33.275] HAYNE J: … [509] [I]t is necessary to recognise that, on its face, the section permits recovery of the whole of the loss sustained by a person who demonstrates that a contravention of Pt V of the Act was a cause of that loss. Neither the words of s 82(1) nor anything in the intended scope and context of the Act suggest some narrower conclusion.

In particular, nothing in the text of s 82(1) (or any of the other provisions of the Act) suggests that the carelessness of the person who [510] suffers loss or damage as the result of contravention of the Act should be taken into account in deciding what was the amount of loss or damage actually suffered. Nor is some such limitation to be derived from considering the intended purposes of the Act. The very simplicity of the language used in s 82(1) appears to confine attention to the limited question of the historical relevance of the contravening conduct to the loss or damage sustained. It does not provide a basis for concluding that notions of contributory fault are to be given a place in its operation.

There may be cases where some of the loss suffered by a person following – and I use the word "following" in a neutral sense – the conduct of another in contravention of the Act may not be loss suffered by that person by the contravening conduct. Had the appellants chosen, for wholly extraneous reasons, to change the design of the units, part way through their construction, in such a way as to waste some costs of construction already incurred, it might be said that the extra costs incurred were not caused by the respondents' contravention. Whether, as Gaudron J suggests, it would be for the contravener to demonstrate in such a case that part of the loss suffered was not attributable to the contravention is a point I need not decide. For the moment, it is enough to say that it seems to me that such questions must find their answers within the Act rather than in analogies with common law. Thus, if notions of remoteness of damage or reasonableness are to find reflection in s 82(1) it seems probable that they may do so only through consideration of the causation question which the sub-section poses …

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I agree with McHugh J that the appellants were entitled to recover the whole amount lost. Nevertheless, the appellants having limited their claim as they have, the appeal should be allowed with costs, the orders of the Full Court of the Supreme Court of Western Australia set aside …

[33.280] GLEESON CJ: … [475] Anderson J said:

> I am satisfied that the plaintiff proceeded with this particular development because he had been told and believed that the three units would fetch at least $250 000 each. I find that he was willing to proceed with the project on the basis of that selling price, albeit in the hope that higher prices might be obtained. That being so, the upper limit of his primary loss should be calculated not on what the plaintiff ended up spending to complete the units but on $250 000 per unit. It seems to me that this approach brings properly to account in the defendants' favour all matters which the defendants say should go against an award of damages to the plaintiff, such as careless costings, inadequate planning, insufficient funding, inept project management, excessive delays and so on. In particular, it does, I think, place at the plaintiff's feet the losses occasioned by the weaknesses in the plaintiff's own feasibility study pursuant to which the plaintiff judged that the particular development which he designed could be undertaken profitably on a gross selling price of $250 000 per unit.

He concluded: "I am therefore of the opinion that the capital loss which should be included in the award of damages is the difference between $750 000 (being three times $250 000) and the aggregate sale prices achieved at auction; ie, $545 000." The loss thus calculated was $205 000.

Having found that there were such supervening causes partly responsible for the ultimate loss suffered on the development project (which was alleged to be $319 846.51), Anderson J was neither obliged, nor able, to make a precise calculation of the extent of such responsibility. That is apparent from a consideration of the nature of the factors in question. But he was obliged to make a reasonable assessment. The appellants, as plaintiffs, established substantial financial loss flowing directly from the respondents' contravention of s 52. It was the respondents who (at this point of the case) were seeking to have the loss or damage attributed to their contravention of the Act diminished by reference to supervening causes. If there had [476] been a failure of proof in that respect, it would have been to the disadvantage of the respondents.

Anderson J set out to make a reasonable assessment of the loss or damage suffered "by" the respondents' contravention of the Act, bearing in mind the supervening causes which contributed to the ultimate loss suffered on the development project, and bearing also in mind the nature and context of the contravention (a representation related primarily to gross revenue, made for use in conjunction with the appellants' own estimation of costs). He attempted to isolate the causative effect of the misleading conduct from that of extraneous factors.

Although he did not put his reasoning on this basis, the result produced by Anderson J appears to be the same as if he had set out to award expectation rather than reliance damages. What he was seeking to do was to measure the causative effect of the misleading representation made by the respondents; and the method he employed, in practical effect, bound the respondents to make good those representations by awarding the appellants the difference between what the units would have sold for if the representations were true and the amount for which the units were actually sold.

The question is whether the respondents have shown that the method used by Anderson J resulted in over-compensation of the appellants. The representation having been that the units would sell for between $250 000 and $280 000 each, he decided to award the appellants what he called their capital loss on the project, but to measure that loss on the basis of a notional, rather than the actual cost. He treated $250 000 per unit as the upper limit of the cost. The actual cost was substantially more, but he treated costs in excess of that amount as "down to" what he regarded as extraneous factors. This was not intended to be anything other than an expedient, albeit obviously inexact, method of isolating the causative effect of those factors from the entire loss. The respondents did not

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demonstrate any better way of doing it. And they have not shown, in this Court, that the appellants were over-compensated.

The appeal should be allowed with costs. The orders of the Full Court should be set aside.

[33.285] GAUDRON J: … [482] It was held in *Marks v GIO Australia Holdings* that the relief available under s 82(1) of the Act is not to be confined by analogy either with actions in contract or in tort: (1998) 196 CLR 494 at 503–4 per Gaudron J, 510 per McHugh, Hayne and Callinan JJ, 528–9 per Gummow J, 549 per Kirby J. Rather, the task under that sub-section is to ascertain the loss suffered by the contravening conduct and to assess the amount necessary to compensate for that loss. Once that is accepted, it follows, in my view, that considerations of foreseeability and contributory negligence are irrelevant to the exercise required by s 82(1). However, that does not mean that, where the loss is the result of two or more acts or events, causation is irrelevant to the task of identifying the loss or the amount of the loss recoverable. To treat causation as irrelevant would be to ignore the requirement in s 82(1) that a person suffer loss or injury by contravening conduct.

The question posed by the Full Court's conclusion that Mr Henville failed to prove his damages is really a question as to who bears the onus of proof, and on what issue, in a case where contravening conduct is the cause of some but not all the loss in issue. The precise question is whether, in a case where loss results from two or more acts or events, s 82(1) requires a claimant to prove only the total loss that he or she suffered leaving it to the person whose conduct is in question to prove that some aspect of that loss is referable to other acts or events or whether, on the other hand, it requires a claimant to prove that a particular component or particular components of his or her loss are referable to the contravening conduct in question.

Just as the relief available under s 82(1) is not to be confined by analogy either with the actions in tort or in contract, it should not be confined by imposing an unduly strict burden of proof on the claimant. As already indicated, s 82 provides for the recovery of loss or damage that a person suffers by contravening conduct. To require a claimant to prove which component of his or her loss or damage is referable to the contravening conduct would be to impose limitations on relief which the terms of that sub-section do not require.

At the very least, to require that a claimant under s 82(1) of the Act [483] prove which component of his loss or damage is referable to contravening conduct would be to confine recoverable loss to that directly resulting from that conduct, and, thus, to impose a gloss on the words of the sub-section. At the other extreme, it would be to deny any remedy at all in those cases where loss results from two or more acts or events but the claimant is unable to identify the precise component or components of the loss referable to contravening conduct. That consequence is inconsistent with the concept of causation upon which s 82(1) is predicated, namely, that the contravening conduct should only have materially contributed to the loss or damage suffered.

It follows that, under s 82(1) of the Act, it is for the person whose contravening conduct materially contributed to the loss or damage to establish what component of that loss or damage is referable to some act or event other than his or her contravening conduct and not for the person who suffers loss or damage to establish the precise component or components referable to that conduct. The Full Court erred in holding otherwise …

The respondents could have proved that particular components of Mr Henville's loss were directly referable to his own conduct. They did not. Alternatively, it was open to them to limit their liability on the basis that the loss or damage he suffered could not have been greater than would have been the case if their representations were true. If their representations had been true, Mr Henville would have received $750 000 on sale of the units. In the result, he received only $545 000. Accordingly, the loss referable to the respondents' conduct could not have been more than $205 000. Having established that and no more, the respondents were not entitled to further limit their liability.

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The appeal should be allowed with costs, the orders of the Full Court set aside and, in lieu, the appeal to that Court should be dismissed with costs.

[GUMMOW J agreed with McHugh and Hayne JJ.]

Appeal allowed.

[33.290] Notes and Questions

1. In the past, the courts have stated that the "but-for" test must be applied in a common-sense way. It had also been recognised that the outer bounds of liability may be determined by normative considerations based on broad policy considerations such as whether the respondent ought to be held to have caused the loss (*March v Stramare Pty Ltd* (1991) 171 CLR 506; *Chappel v Hart* [1998] HCA 55; (1998) 195 CLR 232, [22]–[26]). However, the recent High Court decision of *Travel Compensation Fund v Tambree* [2005] HCA 69; (2005) 224 CLR 627 calls into question the common sense qualification and the relevance of broad policy considerations when determining causation under the ACL. Gummow and Hayne JJ expressed doubt as to whether there is any "common sense" notion of causation that can provide a useful legal norm (at [45]). Gummow and Hayne JJ also rejected the relevance of broader policy considerations, such as whether the respondent ought to be held liable (at [46]–[47]). Whilst policy is relevant, it is only the policy underpinning the particular cause of action that should be considered. Gleeson CJ also noted that when determining whether "loss or damage is 'by' misleading or deceptive conduct … it is in the purpose of the statute, as related to the particular circumstances of the case, that the answer to the question of causation is to be found" (at [30]). Although Callinan J opined that it would be "delusion to think that a disputed question of causation can be resolved according to an invariable scientific formula, and without acknowledgement of common sense" (at [81]), he agreed that the scope and objects of the statute are of critical importance to determining causation. Kirby J did not oppose the consideration of broader policy questions and believed that common sense must also have a role to play in determining causation.
2. In *Gould v Vaggelas* (1985) 257 CLR 215, 236, a deceit case, Wilson J stated that "[i]f a material representation is made which is calculated to induce the representee to enter into a contract and that person in fact enters into the contract there arises a fair inference of fact that he was induced to do so by the representation". In *Ricochet Pty Ltd v Equity Trustees Executor & Agency Co Ltd* (1993) 41 FCR 229, 234, the Full Federal Court applied Wilson J's statement and noted that it "provides a practical guide to the way in which inferences can and should be drawn in" misleading conduct cases. In *Como Investments Pty Ltd v Yenald Nominees Pty Ltd* [1997] ATPR ¶41-550, 43,619, the Full Court of the Federal Court applied this principle to a claim for damages for misleading conduct. The court stated the position as follows:

> Where a representation is relevant to the decision in question, and in its nature persuasive to induce the making of the decision, it accords with legal notions of causation to hold that it has a causative effect. And where a respondent, who may be taken to know his own

> business, has thought it was in his interests to misrepresent the situation in a particular respect, the Court may infer that the misrepresentation was persuasive. These inferences arise from the making of the representation followed by the respondent doing the thing it was calculated to induce him to do. All this is a matter of common sense.

Comments made in the recent High Court case of *Campbell v Backoffice Investments Pty Ltd* [2009] HCA 25; (2009) 238 CLR 304, cast doubt on the automatic applicability of such principles in misleading conduct cases. Gummow, Hayne, Heydon and Keifel JJ made three points about the proposition set out in *Gould v Vaggelas*:

> First, it is a proposition expressed in relation to the law of deceit, not the operation of statutory provisions for the award of damages suffered by contravention of consumer protection provisions proscribing misleading or deceptive conduct. Secondly, the proposition carries within it a number of subsidiary questions, such as what is a "material" representation, and when is a material representation "calculated" to induce entry into a contract. Thirdly, because the proposition is directed to the drawing of inferences, consideration of its application must always attend closely to all of the evidence that is adduced that bears upon the question being examined.

Their Honours then went on to note:

> What is important in the present case is that the evidence that was given by Mr Weeks about what he would have done if he had known more than he did was expressed in a way that distinguished between cases where knowledge of *either* of two matters would have meant he would not proceed and cases where he attached significance to knowledge of *both* of two matters. This being the only direct evidence on the subject it was not open to the Court of Appeal to infer, from its own assessment of the materiality of the representation and its own assessment of whether the representation was calculated to induce entry into a contract, that Mr Weeks would not have proceeded with the share purchase.

However, in *Australian Competition and Consumer Commission v TPG Internet Pty Ltd* French CJ, Crennan, Bell and Keane JJ stated: "[i]t has long been recognised that, where a representation is made in terms apt to create a particular mental impression in the representee, *and is intended to do so*, it may be inferred that it has had that effect": [2013] HCA 54; (2013) 250 CLR 64.

In *Lord Buddha Pty Ltd (in liq) v Harpur* [2013] VSCA 101; (2013) 41 VR 159, Vickery AJA (Weinberg JA and Tate JA agreeing) provided the following useful summary of principles as to the practical application of the guide provided by *Gould v Vaggelas*:

1. In cases of deceit or cases brought under s 52 and s 82 of the Act (or under equivalent State legislation) if a material representation is made which is calculated (which is to say, objectively likely (*Ricochet; Henderson v Amadio Pty Ltd (No 1)* [1995] FCA 1300; (1995) 62 FCR 1) to induce the representee to enter into a contract, and where the representation is of a kind that it is likely to provide an inducement, and that person in fact enters into the contract, an inference may be drawn that the representation operated as an inducement for the person to do so ((*Gould v Vaggelas* at 238-9 (Wilson J) and 250-1 (Brennan J)).
2. However, an inference of inducement is no more than an inference of fact, which may be rebutted on the facts of the case. In order to rebut the inference, the representor assumes an evidentiary onus to point to facts inconsistent with the inference arising (*Gould v Vaggelas* at 238-9 (Wilson J)). Those facts, when weighed alongside the inference which is otherwise open to be drawn, may be sufficient to rebut it. For example, a rebuttal may be established by showing that the representee, before he entered into the contract, either was possessed of actual knowledge of the true facts and knew them to be true or

alternatively made it plain that whether he knew the true facts or not he did not rely on the representation (*Gould v Vaggelas* at 238-9 (Wilson J)). A possible inference may also be rebutted by the direct evidence called, for example, where the direct evidence is inconsistent with the inference of reliance which may otherwise have been open to be drawn.

3. The representation need not be the sole inducement. It is sufficient so long as it plays some part in inducing the representee to enter the contract, thereby acting as a real inducement, or one of the real inducements to him to do what caused his loss (*Gould v Vaggelas* at 205-1 (Brennan J).
4. The inference may be drawn where commonsense would demand the conclusion that the false representation(s) played at least some part in inducing the representee to enter into the contract (Hanave (1999) 43 IPR 545, [45].
5. The drawing of the inference, on application of these principles, is but part of the fact-finding which must be undertaken on the whole of the evidence to determine the ultimate question on the issue of material inducement leading to reliance, namely whether or not the representee has satisfied the trier of fact on the balance of probabilities that the representation(s) in question contributed to the representee's decision to enter into the contract such that, whether alone, or with or notwithstanding other things that accompanied it, the representation(s) operated as a real inducement or one of the real inducements, to the representee to do so. The task of the court is to examine the relevant course of conduct as a whole. It is determined by reference to the alleged conduct in the light of the relevant surrounding facts and circumstances. The effect of any relevant statements or actions or any silence or inaction occurring in the context of a single course of conduct must be deduced from the whole course of conduct (*MWH Australia Pty Ltd v Wynton Stone Australia Pty Ltd (in liq)* (2010) 31 VR 575, [32] per Warren CJ).
6. The fulcrum of the inquiry in relation to misrepresentation and reliance is the need to identify contravening conduct (the making of the misrepresentation) and a causal connection between that conduct and the loss and damage allegedly suffered, in the sense that the representation(s) played at least some part in inducing the representee to enter into the contract. This must be found on the balance of probabilities before liability can be established. The mere possibility that a misrepresentation might have induced a course of action by the representee is not sufficient to attach liability under s 82 to the making of it (*Ricochet* at 235; *MWH* at [33] (Warren CJ).
7. In the application of these principles, the drawing of inferences pursuant to *Gould v Vaggelas*, is not per se precluded because there is no direct evidence as to reliance upon the alleged representation, nor is it precluded by reason that direct evidence was called, even if the thrust of the direct evidence is rejected. An inference as to reliance may be open to be drawn, or it may not. In each case the totality of the evidence in its context, including any possible inference to be drawn when assessed against the effect of any direct evidence, needs to be examined.

EXCLUSION CLAUSES AND DISCLAIMERS

[33.295] A variety of devices have been employed in an attempt to avoid the statutory prohibition against misleading or deceptive conduct including merger or entire agreement clauses, acknowledgment clauses and disclaimers. It is not possible to exclude the statutory liability that arises from a contravention of s 18 of the ACL by force of contractual provision or disclaimer alone (*Bowler v Hilda* (1998) 80 FCR 191, 207). A disclaimer or contractual provision can only affect statutory liability if:

(a) it has the effect that the relevant conduct cannot be properly characterised as misleading or deceptive; or
(b) it has the effect that the claimant cannot successfully establish that he or she reasonably relied on the misleading or deceptive conduct and, therefore, is unable to prove that the conduct caused the loss.

In the application legislation of some jurisdictions, attempts to exclude liability are expressly rendered ineffective: see *Fair Trading Act 1989* (Qld), s 107; *Fair Trading Act 1987* (SA), s 96; *Fair Trading Act 2010* (WA), s 13 (but see s 105). Note also that s 50 of the *Fair Trading Act 1990* (Tas), which applies to conduct predating the introduction of the ACL as a law of Tasmania, prohibits contracting out of the prohibition against misleading conduct contained in s 14.

An appropriately worded disclaimer, if sufficiently prominent and contemporaneous with the allegedly misleading conduct may prevent that conduct from being misleading, or make it difficult for a fully informed person to show actual reliance (see eg *Butcher v Lachlan Elder Realty Pty Ltd* [2004] HCA 60; (2004) 218 CLR 592 (at [33.65]) cf McHugh J [33.75] and Kirby J [33.80]).

Byers v Dorotea Pty Ltd (1986) 69 ALR 715 (at [33.300]) illustrates how an exclusion clause that would be effective under the general law will not preclude liability under the ACL. Lockhart J also considered the effect of disclaimer and entire agreement clauses in *Henjo Investments Pty Ltd v Collins Marrickville Pty Ltd* (1988) 39 FCR 546 (see [33.252]).

Byers v Dorotea Pty Ltd

[33.300] *Byers v Dorotea Pty Ltd* (1986) 69 ALR 715 (Federal Court of Australia) – Trial of action.

[FACTS: Three sets of applicants, including Mrs Byers (the *applicants*), entered into contracts to purchase new units on Queensland's Gold Coast. Following a slump in demand for such units, the applicants claimed that they were induced to enter the contracts by misleading statements made nearly six years earlier by a Mr Ian McLeod on behalf of the *respondent*. They purported to rescind the contracts, and brought proceedings under ss 52 and 53A(1)(b) of the *Trade Practices Act 1974* [ACL, s 18 and s 30 respectively], and also under the general law. The misleading statements were to the effect that there was to be an indoor swimming pool and that the new units would be "bigger and better" than those the applicants already owned in a nearby building.]

PINCUS J: [His Honour first found that the misleading statements were established, and that even though the contracts were not made until seven months after the statements, the contracts were induced by the statements. He then proceeded to deal with other issues.] [721]

Delay and affirmation

The applicants were confronted with a substantial obstacle in that they … asked for an extension of time to complete, but rescinded instead of doing so … [722] It was argued on behalf of the respondent that the request for an extension of time amounted to an affirmation. There is authority in support of that proposition: *Arvier v Watson* (1888) 14 VLR 771; see also the notes to Stonham's "Vendor and Purchaser" at p 694. As I understand the evidence of Mrs Byers on the point, the sequence of events was that the final inspection took place before the original due date for settlement (20 December 1982). A decision was then made by the applicants to endeavour to "get out of the units" and the extension of time was requested to enable investigation in that direction to be further pursued.

It is not suggested in the applicants' case that they gained any further knowledge after the extension was sought and obtained. In my view, under the general law, the request for extension would in those circumstances have amounted to an affirmation, precluding a right of rescission. However, it is my opinion that the right to grant relief under the *Trade Practices Act* is not necessarily brought to an end

Byers v Dorotea Pty Ltd cont.

by an affirmation of the contract. That point is further discussed at the conclusion of these reasons. I should add that I have not found it necessary to deal with the assertion that there was fraud.

Exclusion clause

[33.305] It was argued for the applicants that, apart from the *Trade Practices Act*, their rescission was good under the general law. It appears to me desirable to determine that point, in case the conclusion that there was an affirmation is erroneous.

[723] An answer made to the applicants' claim, so far as it relied upon misrepresentation, is clause 8(c)(i) of each contract: "The purchaser acknowledges that he has not relied on any representations by the vendor, the vendor's agent or any other person or persons or corporation in and about entering into this contract other than as set out herein, and that the conditions and stipulations hereof constitute the only agreement between the purchaser and the vendor."

It will be noted that the clause has two distinct parts: the first is an admission of fact, and the second is an agreement as to the content of the contract. The latter does not affect the present issue, as it is not contended by the applicants that the agreement includes any condition or stipulation not set out in the formal writing. The first part of the clause, however, poses a more difficult question.

There are decisions of the Queensland Supreme Court, mentioned below, which unequivocally favour the respondents. It was contended, however, that these decisions are incorrect and that I should not follow them.

In my opinion, the relevant defence is estoppel and that species of estoppel which is sometimes called estoppel by convention. In the well-known passage in *Thompson v Palmer* (1933) 49 CLR 507 at 547, Dixon J referred to it as one of the bases of estoppel in pais. His Honour began by explaining that: "The object of estoppel in pais is to prevent an unjust departure by one person from an assumption adopted by another as the basis of some act or omission which, unless the assumption be adhered to, would operate to that other's detriment."

One of the reasons his Honour gave for the estopped party's being "required to abide by the assumption" was "because it formed the conventional basis upon which the parties entered into contractual or other mutual relations …" His Honour applied those remarks in a case of alleged estoppel by convention, *Grundt v Great Boulder Pty Gold Mines Ltd* (1937) 59 CLR 641 at 676, which was mentioned by Lord Denning MR in *Amalgamated Investment and Property Co Ltd v Texas Commerce International Bank Ltd* [1982] 1 QB 84 at 121. Lord Denning MR there emphasised that the doctrine is rooted in considerations of justice, as of course did Dixon J. Eveleigh LJ, at 126, and Brandon LJ, at 131, also treated the case before them as one of estoppel by convention.

One thing which is clear about this sort of estoppel is that it is not created by every admission in a contract. According to Lord Maugham in *Greer v Kettle* [1938] AC 156 at 171, there is a "well known rule of the Chancery Court in regard to a receipt clause in a deed" that it does not effect an estoppel if the money has not in fact been paid. That rule has been applied by the High Court in *Petersen v Moloney* (1951) 84 CLR 91 and again in *Mackay v Brice* (1979) 25 ALR 597 at 603.

In the judgment of Lord Maugham just referred to, there is discussion of the doctrine of estoppel by deed, said in the work by Spencer Bower and Turner, *Estoppel by Representation*, (3rd Ed, p 158) to be a sub-class of estoppel by convention. Lord Maugham, speaking of the "principle that a solemn and unambiguous statement or engagement in a deed must be taken as binding between parties and privies" asserted that the position in equity is different from that at law. He thought it clear that: "… in equity a party to a deed could not set up an estoppel in reliance on a deed in relation to [724] which there is an equitable right to rescission or in reliance on an untrue statement or an untrue recital induced by his own representation, whether innocent or otherwise, to the other party." Lord Maugham treated the rule about the receipt clause in a deed, applied in the High Court cases just mentioned, as a "good illustration of the equity view".

Byers v Dorotea Pty Ltd cont.

It appears to me that there is a significant difference in principle between an admission of fact in a contract relied on as creating an estoppel, and a contractual promise expressly excluding a particular defence. In the latter case, the excluded defence may not be given effect to by the Court without its sanctioning a breach of contract. It is partly for that reason that I cannot accept that the decision of the High Court in *Life Insurance Co of Australia Ltd v Phillips* (1925) 36 CLR 60 is decisive of the present point, although apparently thought to be so in the Queensland Supreme Court decision referred to below, *Dorotea Pty Ltd v Christos Doufas Nominees Pty Ltd* (1986) Qd R 91. In *Phillips' case*, a "canvassing agent" for an insurance company made a representation as to the effect of a proposed transaction and two of the judges in the High Court thought it could not be relied on against the insurance company because of a clause in the proposal reading as follows: "I also agree that no statement, promises or information made by or given by the person canvassing for or taking this proposal, or by any other person, shall be binding on the company or affect its rights in any way whatsoever, except insofar as such statements or promises are contained in the printed tables of the company or included in writing on this proposal."

Isaacs J appeared to think that it was the inferior status of the agent which made the difference: "I am far from saying that that clause would be read and applied so widely as to shield the Company if a superior responsible officer representing the company misled the insured. But in such a case as the present, I think it fairly applies."

Starke J at 87 referred to the clause and to the fact that there was no fraud, but did not say anything as to the status of the representor, nor refer his view to any wider principle.

It is thus seen, in my respectful opinion, that *Life Insurance Co v Phillips* is not decisive of the point for two reasons: *Phillips' case* dealt with a contractual promise and not a mere admission of fact; secondly, the representor here was one of the owners of the vendor company and not an inferior agent.

Were the matter free from direct authority, I would be inclined to hold that the clause constituted no defence to a claim to rescind based upon misrepresentation, fraudulent or otherwise. Applying the test set out in *Thompson v Palmer* and reiterated by Dixon J in *Grundt's* case, the part taken by the applicants in occasioning the adoption of the assumption was not such as to render a departure from it unjust. What the applicants did was to sign a standard printed form of contract prepared by the vendor containing the clause; as they were induced to do so by a misrepresentation, I find it difficult to see any injustice in permitting them to prove that fact.

I note also the general unwillingness of courts exercising equitable jurisdiction to allow claims to rescind land sale contracts, based on innocent [725] misrepresentation, to be defeated by contractual provisions, exemplified by *Laurence v Lexcourt Holdings Ltd* [1978] 1 WLR 1128 and *Walker v Boyle* (1982) 1 All ER 634.

But the applicants were faced with a number of adverse decisions of the Queensland Supreme Court, of which the most recent appears to be *Dorotea Pty Ltd v Christos Doufas Nominees Pty Ltd* (1986) 2 Qd R 91. There Carter J regarded himself as bound by a decision of the Full Court of the Supreme Court in *Brisbane Unit Development Corporation Pty Ltd v Robertson* (1983) 2 Qd R 105. According to the judgment in that case, the point went by concession, but as Carter J pointed out, the Full Court clearly agreed that the concession was correctly made.

Although my mind has fluctuated, I have come, in the end, to the opinion that I should apply the views of the Queensland Supreme Court. It seems to me probable that the matter is regarded as practically settled in this State, and it would be inconvenient to act on a different opinion. Thus, while by no means convinced that it is in accordance with the principles laid down by Dixon J and referred to above so to hold, I act on the basis that the clause is effective to defeat a claim based upon innocent misrepresentation.

It should be added that it is clear enough that the clause is ineffective against a claim under the *Trade Practices Act*. For reasons akin to those discussed in *Beckford Nominees Pty Ltd v The Shell Company of Australia Limited* (unreported, 1 October 1986) the applicants cannot, in my view, be

Byers v Dorotea Pty Ltd cont.

prevented by estoppel by convention from asserting that there was a breach of s 52 of the *Trade Practices Act*. See also *Petera Pty Ltd v EAJ Pty Ltd* (1985) ATPR 40-605 and *Dibble v Aidan Nominees Pty Ltd* (1986) ATPR 40-693 …

Exercise of discretion under the Trade Practices Act

[33.310] [730] I have concluded that the respondent, through the agency of McLeod, has breached s 52 of the *Trade Practices Act* by making statements which induced the applicants to enter into the contracts. I have also concluded, however, that under the general law the applicants' rescission, regarded as being based on innocent misrepresentation, would be held unlawful, by reason that the applicants affirmed the contracts and also by reason of cl 8(c)(i) of each contract. I deferred consideration of the question whether, in exercise of the Court's jurisdiction under s 87 of the *Trade Practices Act*, that affirmation is fatal. In case I am in error in the conclusions reached under the last two headings, I return to that point.

In my opinion, the power given by s 87 is wide enough to justify an order that the deposits be returned. I am of the view that in determining what relief, if any, should be granted on account of a breach of s 52 which has caused loss, the court is not necessarily precluded by an affirmation. Here, the factual circumstances discussed under the last two headings may, in my view, be taken into account in determining whether, on the whole, it is fair to require the deposits to be returned on the ground of breach of s 52.

Another consideration which points in the same direction is that, on the findings, the applicants would have been entitled to damages for the breaches of s 52 of the *Trade Practices Act*, on the basis indicated in *Gates v City Mutual Life Assurance Society Ltd* (1986) 63 ALR 600 at 607 and 609 – ie on the basis of the difference between the prices to be paid and the value of the units. It is true that not only has no such claim been made, but there is no evidence on which the damages could be assessed with absolute precision. But the units were resold very shortly after the settlement date, for losses of (respectively) $45 545.05, $40 268.10 and $18 751.11. If the contracts which I have held to have been induced by misleading statements had been completed, then approximately those sums would have had to be paid by the respondent as damages, instead of being recoverable by it.

Orders accordingly.

VITIATING FACTORS: ABUSE OF POWER

PART XIB

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Chapter 35. Undue influence 1047

Chapter 36. Unconscionable dealing 1067

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CHAPTER ***34***

Duress

[34.10] BASIC ELEMENTS OF DURESS 1033
[34.15] *Universe Tankships Inc of Monrovia v International Transport Workers Federation* 1034
[34.25] THREATS TO PERSON 1036
[34.30] *Barton v Armstrong* 1036
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[34.50] *Hawker Pacific v Helicopter Charter* 1039
[34.65] THREATS TO BREACH A CONTRACT 1044
[34.70] LAWFUL ACT DURESS 1044

[34.05] Judge-made law does not provide a general principle of relief in respect of contracts brought about by unfair means. Nevertheless there are many grounds for providing relief from a contract on the basis that the contractual consent of one of the parties was impaired by virtue of some form of wrongful inducement. As discussed in Part XIA, those induced to enter into a contract by some form of *misinformation* may in certain circumstances obtain relief from the courts. This part looks at certain categories of cases in which one of the parties (the *defendant*) enjoyed an ascendant position vis-à-vis the other party (the *plaintiff*) and abused that position by subjecting the plaintiff to threats (duress) or undue pressure (undue influence) or by taking advantage of the plaintiff's position of special disadvantage (unconscionable dealing).

The concept of unfairness is often analysed as having two aspects: *procedural unfairness* (ie, unfairness in the way in which the contract was brought about) and *substantive unfairness* or "contractual imbalance" (ie, unfairness in the terms of the contract itself). Judge-made law has generally been concerned with procedural unfairness only. As Toohey J pointed out in *Louth v Diprose* (1992) 175 CLR 621, 654, the courts "are not armed with a general power to set aside bargains simply because, in the eyes of the judge, they appear to be unfair, harsh or unconscionable". Nevertheless, substantive unfairness may be evidence of procedural unfairness. In the words of Lord Brightman: "Contractual imbalance may be so extreme as to raise a presumption of procedural unfairness, such as undue influence or some other form of victimisation": *Hart v O'Connor* [1985] 1 AC 1000, 1018. Chapter 16 deals with the statutory regime that addresses substantively unfair contract terms.

BASIC ELEMENTS OF DURESS

[34.10] This chapter deals with the situation where one of the parties, in procuring the making of a contract, or in obtaining a payment of money, has brought pressure to bear on the other party, in the form of threats. The governing principles are the common law principles of "duress" and "compulsion" and the equitable principles of "coercion". The main remedy available to a plaintiff in a case of duress is *rescission*. This form of relief, and the bars to it, is considered in more detail in Chapter 39.

There are two elements involved in assessing duress:

1. "whether any applied pressure induced the victim to enter into the contract"; and
2. "whether that pressure went beyond what the law is prepared to countenance as legitimate". *Cresendo Management Pty Ltd v Westpac Banking Corporation* (1988) 19 NSWLR 40, 46 (McHugh JA, Samuels and Mahoney JJA agreeing).

Different views have been expressed as to whether duress also requires the absence of a reasonable alternative available to the defendant: compare Heydon, *Heydon on Contract* (2019), [16.10]; Seddon and Bigwood, *Cheshire and Fifoot's Law of Contract* (11th Aust ed, 2017), [13.1] and Edelman and Bant, *Unjust Enrichment* (2nd ed, 2016), p 207. Even if the absence of a reasonable alternative is not an element of duress, it may provide relevant evidence of the effect of the pressure applied. Thus, an absence of a reasonable alternative may strongly suggest that the pressure applied by the defendant influenced the decision of the plaintiff. Conversely, the presence of a reasonable alternative available to the plaintiff may support the conclusion that that the pressure applied by the defendant was not an operative reason affecting his or her decision.

Universe Tankships Inc of Monrovia v International Transport Workers Federation

[34.15] *Universe Tankships Inc of Monrovia v International Transport Workers Federation* [1983] 1 AC 366 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: The defendant trade union (the *ITF*) had "blacked" the plaintiffs' (the *owners'*) ship by ensuring that portworkers would not service it with tugs. In order to secure the lifting of the blacking and thereby avoid the disastrous financial consequences that would ensue if the ship was stranded in port, the plaintiffs acceded to various demands made by the defendant, including the payment of $6,480 to the ITF's welfare fund. The plaintiffs later claimed return of the money on the basis of having paid it under "economic duress". Parker J allowed the claim, but the Court of Appeal disallowed it. On appeal to the House of Lords, the ITF *conceded* it was guilty of economic duress but claimed immunity by virtue of provisions in the *Trade Union and Labour Relations Act 1974* which provide protection in respect of "trade disputes" as defined in the Act. The House of Lords ruled, by a majority, that the Act did not provide immunity in the circumstances of this case. Hence the appeal was allowed. The views of Lord Scarman on the nature of duress are extracted below.]

LORD SCARMAN: [400] The authorities … reveal two elements in the wrong of duress:

(1) pressure amounting to compulsion of the will of the victim; and

(2) the illegitimacy of the pressure exerted.

There must be pressure, the practical effect of which is compulsion or the absence of choice.

Compulsion is variously described in the authorities as coercion or the vitiation of consent. The classic case of duress is, however, not the lack of will to submit but the victim's intentional submission arising from the realisation that there is no other practical choice open to him. This is the thread of principle which links the early law of duress (threat to life or limb) with later developments when the law came also to recognise as duress first the threat to property and now the threat to a man's business or trade. The development is well traced in Goff and Jones, *The Law of Restitution* (2nd ed, 1978), ch 9.

The absence of choice can be proved in various ways, for example, by protest, by the absence of independent advice, or by a declaration of intention to go to law to recover the money paid or the property transferred: see *Maskell v Horner* [1915] 3 KB 106. But none of these evidential matters goes

Universe Tankships Inc of Monrovia v International Transport Workers Federation cont.

to the essence of duress. The victim's silence will not assist the bully, if the lack of any practicable choice but to submit is proved. The present case is an excellent illustration. There was no protest at the time, but only a determination to do whatever was needed as rapidly as possible to release the ship. Yet nobody challenges the judge's finding that the owner acted under compulsion. He put it thus: [1981] ICR 129 at 143:

> It was a matter of the most urgent commercial necessity that the plaintiffs should regain the use of their vessel. They were advised that their prospects of obtaining an injunction was minimal, the vessel would not have been released unless the payment was made, and they sought recovery of the money with sufficient speed once the duress had terminated.

The real issue in the appeal is, therefore, as to the second element in the wrong duress: Was the pressure applied by the ITF in the circumstances of this case one which the law recognises as legitimate? For, as Lord Wilberforce and Lord Simon of Glaisdale said in *Barton v Armstrong* [1976] AC 104 at 121D: "the pressure must be one of a kind which the law does not regard as legitimate."

As the two noble and learned Lords remarked at 121D, in life, including the life of commerce and finance, many acts are done "under [401] pressure, sometimes overwhelming pressure", but they are not necessarily done under duress. That depends on whether the circumstances are such that the law regards the pressure as legitimate.

In determining what is legitimate two matters may have to be considered. The first is as to the nature of the pressure. In many cases this will be decisive, though not in every case. And so the second question may have to be considered, namely, the nature of the demand which the pressure is applied to support.

The origin of the doctrine of duress in threats to life or limb, or to property, suggests strongly that the law regards the threat of unlawful action as illegitimate, whatever the demand. Duress can, of course, exist even if the threat is one of lawful action: whether it does so depends upon the nature of the demand. Blackmail is often a demand supported by a threat to do what is lawful, for example, to report criminal conduct to the police. In many cases, therefore: "What [one] has to justify is not the threat, but the demand": see *Thorne v Motor Trade Association* [1937] AC 797 at 806 per Lord Atkin.

The present is a case in which the nature of the demand determines whether the pressure threatened or applied, that is the blacking, was lawful or unlawful. If it was unlawful, it is conceded that the owner acted under duress and can recover. If it was lawful, it is conceded that there was no duress and the sum sought by the owners is irrecoverable. The lawfulness or otherwise of the demand depends upon whether it was an act done in contemplation or furtherance of a trade dispute. If it was, it would not be actionable in tort: s 13(1) of the Act. Although no question of tortious liability arises in this case and s 13(1) is not, therefore, directly in point, it is not possible, in my view, to say of acts which are protected by statute from suit in tort that they nevertheless can amount to duress. Parliament having enacted that such acts are not actionable in tort, it would be inconsistent with legislative policy to say that, when the remedy sought is not damages for tort but recovery of money paid, they become unlawful.

[34.20] Note

In *Crescendo Management Pty Ltd v Westpac Banking Corp* (1988) 19 NSWLR 40, 45, McHugh JA said:

> In my opinion the overbearing will theory of duress should be rejected. A person who is the subject of duress usually knows only too well what he is doing. But he chooses to submit to the demand or pressure rather than take an alternative course of action.

THREATS TO PERSON

[34.25] A threat to harm the plaintiff or his or her family unless the plaintiff enters into a contract or pays over money is the archetype example of illegitimate pressure giving rise to duress: *Barton v Armstrong* [1976] AC 104; *Al Nehayan v Kent* [2018] EWHC 333 (Comm).

Barton v Armstrong

[34.30] *Barton v Armstrong* [1976] AC 104 (Privy Council) – Appeal from New South Wales Court of Appeal.

[FACTS: The plaintiff *Barton* alleged that the defendants (including *Armstrong*) had coerced him into executing a deed relating to the sale of certain companies by threatening to have him murdered. Street J found that on many occasions Armstrong had threatened Barton with death, that Barton was justified in taking those threats seriously and did in fact take them seriously. He also found that there were compelling business reasons why Barton executed the deed and that the threats did not coerce him. The Court of Appeal adopted, with some variations, Street J's findings of fact, but Mason JA and Taylor AJA held that the plaintiff-appellant could not succeed unless he established that, but for the threats, he would not have executed the deed and that this he had failed to do. Jacobs JA dissented. Barton appealed to the Privy Council.]

The majority judgment of their Lordships was delivered by LORD CROSS OF CHELSEA … [118]

Their Lordships turn now to consider the question of law which provoked a difference of opinion in the Court of Appeal Division. It is hardly surprising that there is no direct authority on the point, for if A threatens B with death if he does not execute some document and B, who takes A's threats seriously, executes the document it can be only in the most unusual circumstances that there can be any doubt whether the threats operated to induce him to execute the document. But this is a most unusual case and the findings of fact made below do undoubtedly raise the question whether it was necessary for Barton in order to obtain relief to establish that he would not have executed the deed in question but for the threats. In answering this question in favour of Barton, Jacobs JA relied both on a number of old common law authorities on the subject of "duress" and also — by way of analogy — on later decisions in equity with regard to the avoidance of deeds on the ground of fraud. Their Lordships do not think that the common law authorities are of any real assistance for it seems most unlikely that the authors of the statements relied on had the sort of problem which has arisen here in mind at all. On the other hand they think that the conclusion to which Jacobs JA came was right and that it is supported by the equity decisions. The scope of common law duress was very limited and at a comparatively early date equity began to grant relief in cases where the disposition in question had been procured by the exercise of pressure which the Chancellor considered to be illegitimate — although it did not amount to common law duress. There was a parallel development in the field of dispositions induced by fraud. At common law the only remedy available to the man defrauded was an action for deceit but equity in the same period in which it was building up the doctrine of "undue influence" came to entertain proceedings to set aside dispositions which had been obtained by fraud: see Holdsworth, *A History of English Law*, vol V (1924), pp 328-329. There is an obvious analogy between setting aside a disposition for duress or undue influence and setting it aside for fraud. Had Armstrong made a fraudulent misrepresentation to Barton for the purpose of inducing him to execute the deed of January 17, 1967, the answer to the problem which has arisen would have been clear. If … Barton relied on the misrepresentation Armstrong could not have defeated his claim by showing that there were other more weighty causes which contributed to his decision to execute the deed, for in this field the court does not allow an examination into the relative importance of contributory causes.

"Once make out that there has been anything like deception, and no contract resting in any degree on that foundation can stand": per Lord [119] Crawworth LJ in *Reynell v Sprye* (1852) 1 De GM&G

Barton v Armstrong cont.

660, 708 … Their Lordships think that the same rule should apply in cases of duress and if Armstrong's threats were "a" reason for Barton's executing the deed he is entitled to relief even though he might well have entered into the contract if Armstrong had uttered no threats to induce him to do so.

It remains to apply the law to the facts…. [120] If Barton had to establish that he would not have made the agreement but for Armstrong's threats then their Lordships would not dissent from the view that he had not made out his case. But no such onus lay on him. On the contrary it was for Armstrong to establish, if he could, that the threats which he was making and the unlawful pressure which he was exerting for the purpose of inducing Barton to sign the agreement and which Barton knew were being made and exerted for this purpose in fact contributed nothing to Barton's decision to sign. The judge has found that during the ten days or so before the documents were executed Barton was in genuine fear that Armstrong was planning to have him killed if the agreement was not signed. His state of mind was described by the judge as one of "very real mental torment" and he believed that his fears would be at end when once the documents were executed … It is true that on the facts as their Lordships assume them to have been Armstrong's threats may have been unnecessary, but it would be unrealistic to hold that they played no part in making Barton decide to execute the documents. The proper inference to be drawn from the facts found is, their Lordships think, that though it may be that Barton would have executed the documents even if Armstrong had made no threats and exerted no unlawful pressure to induce him to do so the threats and unlawful pressure in fact contributed to his decision to sign the documents and to recommend their execution by … the other parties to them ….

In the result therefore the appeal should be allowed and a declaration made that the deeds in question were executed by Barton under duress and are void so far as concerns him.

[34.35] LORD WILBERFORCE and LORD SIMON OF GLAISDALE: [121] The action is one to set aside an apparently complete and valid agreement on the ground of duress. The basis of the plaintiff's claim is, thus, that though there was apparent consent there was no true consent to the agreement: that the agreement was not voluntary. This involves consideration of what the law regards as voluntary, or its opposite; for in life, including the life of commerce and finance, many acts are done under pressure, sometimes overwhelming pressure, so that one can say that the actor had no choice but to act. Absence of choice in this sense does not negate consent in law; for this the pressure must be one of a kind which the law does not regard as legitimate. Thus, out of the various means by which consent may be obtained – advice, persuasion, influence, inducement, representation, commercial pressure – the law has come to select some which it will not accept as a reason for voluntary action: fraud, abuse of relation of confidence, undue influence, duress or coercion. In this the law, under the influence of equity, has developed from the old common law conception of duress – threat to life and limb – and it has arrived at the modern generalisation expressed by Holmes J: "subjected to an improper motive for action": *Fairbanks v Snow* 13 NE Reporter 596 at 598.

In an action such as the present, then, the first step required of the plaintiff is to show that some illegitimate means of persuasion was used. That there were threats to Barton's life was found by the judge, though he did not accept Barton's evidence in important respects … The next necessary step would be to establish the relationship between the illegitimate means used and the action taken. For the purposes of the present case (reserving our opinion as to cases which may arise in other contexts) we are prepared to accept, as the formula most favourable to the appellant, the test proposed by the majority, namely, that the illegitimate means used was *a* reason (not *the* reason, nor the *predominant* reason nor the *clinching* reason) why the complainant acted as he did. We are also prepared to accept that a decisive answer is not obtainable by asking the question whether the contract would have been made even if there had been no threats because, even if the answer to this question is affirmative, that does not prove that the contract was not made because of the threats ….

[124] Street J found that Barton was motivated to enter into the agreement by sheer commercial necessity. By this he meant that the company would survive and be profitable without Armstrong, but not with him, and that the likelihood and extent of such profit justified the price to be paid to get rid

Barton v Armstrong cont.

of Armstrong …. The finding and the evidence supporting it was carefully scrutinised by the Court of Appeal and, in the end, endorsed. [After quoting the relevant passage in the judgment of Mason JA they continued.] The judge's findings were also accepted, after careful examination by Taylor AJA "… the conclusion," he finds, "that Barton entered into this agreement because he wanted to and from commercial motives only is, I think, undoubtedly correct."

The appeal cannot succeed unless these most explicit findings are overturned. We consider that no basis exists for doing so.

[34.40] **Note**

In *Crescendo Management Pty Ltd v Westpac Banking Corp* (1988) 19 NSWLR 40, 46, McHugh JA made the following statement:

> It is unnecessary, however, for the victim to prove that the illegitimate pressure was the sole reason for him entering into the contract. It is sufficient that the illegitimate pressure was one of the reasons for the person entering into the agreement. Once the evidence establishes that the pressure exerted on the victim was illegitimate, the onus lies on the person applying the pressure to show that it made no contribution to the victim entering into the agreement.

Given that illegitimate conduct need only be *a* cause of entry into the contract, it appears that the real issue in duress cases is the nature of the illegitimate conduct rather than the extent to which consent is impaired.

THREATS TO GOODS

[34.45] Money *actually paid* under compulsion for the release of chattels can be claimed back in an action in *restitution* for unjust enrichment; the action for money had and received:

> If a person pays money which he is not bound to pay, under compulsion of urgent and pressing necessity or of seizure actual or threatened of his goods, he can recover it as money had and received: *Maskel v Horner* [1915] 3 KB 106, 118.

If a person *promised* to pay money (as distinct from actually paying it) in order to obtain the release of goods unlawfully taken or retained, there was some authority for the view that provided consideration was given, such a promise *was* enforceable and the contract could not be avoided on the basis of duress. In *Skeate v Beale* (1841) 11 Ad & El 983; 113 ER 688, Lord Denman CJ said that "an agreement is not void because made under duress of goods … the fear that goods may be taken or injured does not deprive anyone of his free agency". However, Lord Denman's opinion stood uneasily with the recognised right to recover back money *paid* to prevent unlawful seizure of goods or to obtain goods actually seized: see *Astley v Reynolds* (1731) 2 Str 915; 93 ER 939 (an action in restitution for money had and received). Logic and principle demanded that the threatened detention of goods should be within the scope of duress if the promisor had no real alternative but to submit. The modern approach is illustrated by the following case.

Hawker Pacific v Helicopter Charter

[34.50] *Hawker Pacific Pty Ltd v Helicopter Charter Pty Ltd* (1991) 22 NSWLR 298 (New South Wales Court of Appeal) – Appeal from Brownie J.

[FACTS: In 1986, Helicopter Charter Pty Ltd (the *respondent*) had a helicopter which needed repainting. It agreed to pay Hawker Pacific Pty Ltd (the *appellant*) $5,200 for the repainting. The painting was done, but not to the satisfaction of Mr Barnao who was in charge of the respondent's business. Further work was done by the appellant on the basis that the price became $5,550. No money was paid. Following further complaints about defects in the work, the helicopter was redelivered to the appellant for rectification work. On 5 March 1987, Mr Barnao and Mr Hough (the respondent's pilot) went to pick up the helicopter. They spoke to the appellant's manager Mr Bartlett. Mr Barnao left, and Mr Bartlett had a document typed which he asked Mr Hough to sign. Mr Hough phoned Mr Barnao who told him to sign. Mr Hough and Mr Bartlett signed the following document.

> This letter is to confirm our agreement in which it has been agreed that Helicopter Charter Pty Ltd will pay Hawker Pacific Pty Ltd the sum of $4 300.00 being for a paint job carried out to Bell 206B VH-AHV, Job No PAA-217 and PAA-219.
>
> This payment releases Hawker Pacific Pty Ltd from any encumbrances or liability as it relates to the paint job.
>
> Helicopter Charter Pty Ltd agrees that the payment will be made on delivery of the helicopter.

The respondent took the helicopter away but did not pay $4,300. The respondent commenced proceedings in which it submitted that the agreement in the document was voidable on the grounds of duress. Brownie J upheld this submission and set aside the agreement. The appellant appealed.]

PRIESTLEY JA: [301] In his reasons, Brownie J set out in detail the evidence of what happened between Messrs Barnao, Hough and Bartlett on 5 March 1987. Upon that evidence he reached the following factual conclusions. The respondent urgently needed the helicopter for charter work that day. Mr Barnao believed that Mr Bartlett would prevent the helicopter being taken away unless the agreement proposed by Mr Bartlett as later embodied in the document signed by Messrs Hough and Bartlett was entered into by the respondent. Mr Bartlett did not make a threat to that effect in words, but the surrounding circumstances were such as to justify Mr Barnao in his belief. Because he believed that the only practical way of getting possession of the helicopter for the respondent that day was by agreeing to Mr Bartlett's proposal, Mr Barnao did so. Brownie J also noted that it was common ground before him that Messrs Barnao and Hough had conveyed to Mr Bartlett, before Mr Barnao left Mr Bartlett's office and before the document was signed, that the respondent needed the helicopter urgently, that day. Brownie J further found that Mr Barnao's conduct on behalf of the respondent after 5 March 1987 did not amount to an affirmation of the agreement made on that day.

In the appeal, the appellant did not challenge the trial judge's primary findings of fact. The argument went to the complexion to be put on those findings. This submission needs to be measured against the legal principle concerning duress in commercial situations such as that in question. The general law on the subject was reviewed by Isaacs J in *Smith v William Charlick Ltd* (1924) 34 CLR 38. In that case the plaintiff sought to recover money paid to the defendant, by action for money had and received, in circumstances in which, the plaintiff claimed, the law implied a promise to repay by the defendant to the plaintiff. Isaacs J stated the law as follows (at 56):

> It is conceded that the only ground on which the promise to repay could be implied is "compulsion". The payment is said by the respondent not to have been "voluntary" but "forced" from it within the contemplation of the law. Leaving aside, for the present, the question whether in law the payment was "forced" from the respondent by some undue advantage taken of its situation having regard to the Wheat Harvest legislation, the point is whether the Board's insistence was what is regarded as "compulsion" from the simple standpoint of common law. "Compulsion" in relation to a payment of which refund is sought, and whether it is also variously called "coercion", "extortion", "exaction", or "force",

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> includes every species of duress or conduct analogous to duress, [302] actual or threatened, exerted by or on behalf of the payee and applied to the person or the property or any right of the person who pays or, in some cases, of a person related to or in affinity with him. Such compulsion is a legal wrong, and the law provides a remedy by raising a fictional promise to repay.

This passage was adopted by Long Innes J as correct in *Nixon v Furphy* (1925) 25 SR (NSW) 151 at 160. The Full Court adopted as correct the portion of the passage commencing "'compulsion' in relation to a payment" in *TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd* [1956] SR (NSW) 323 at 328; 73 WN (NSW) 556 at 569–70. The court in the *T A Sundell* case (Roper CJ in Equity, Hardie J and Manning AJ) also noted (at 328; 570) that Isaacs J's formulation was in substance to the same effect as the opinion expressed by Fullagar J in *Re Hooper and Grass' Contract* [1949] VLR 269. An interesting observation made by Fullagar J in that case was that "the withholding of another's legal right" (which I take to be analogous to Isaacs J's "duress … applied to … any right" of the opposing party) may be treated as "practical compulsion", a term used in English cases decided since *Smith v William Charlick Ltd*.

Isaacs J's statement refers in terms only to situations where payment has been made under duress, not to contracts made under duress. I do not see why the underlying idea should not apply to both situations. That is, the sentence in his statement beginning "'compulsion' …" could just as well be written "'compulsion' in relation to a contract which is sought to be set aside, includes every species of duress or conduct analogous to duress, actual or threatened, exerted by or on behalf of the promisee and applied to the person or the property or any right of the person who promises". A similar conclusion was reached by Mocatta J in *North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd* [1979] QB 705 at 719 and by Lord Diplock in the House of Lords in *Universe Tankships Inc of Monrovia v International Transport Workers Federation* [1983] 1 AC 366 at 384. The course of authority in New South Wales seems to me to warrant the same conclusion.

Brownie J's finding seems to me to fall within the proposition stated by Isaacs J. Brownie J said that the appellant's conduct on 5 March 1987, viewed objectively, amounted to a holding out to the respondent that the helicopter would not be released unless the respondent first promised to pay $4 300 to the defendant and signed the document of 5 March 1987: see p 14 of his reasons. In the language of Isaacs J, this represented a finding of conduct by the appellant analogous to threatened duress by the appellant applied to either or both of the respondent's helicopter or the respondent's right to take its helicopter away from the appellant's premises …

The respondent was entitled to take away its helicopter from the appellant's premises on 5 March 1987. The appellant's conduct showed, and Mr Barnao believed, that the appellant would not permit it to be taken away unless the respondent did what the appellant wanted. On Brownie J's findings, in my [303] opinion fully supported by the evidence, the respondent's need for the helicopter for business purposes that day was so urgent that recourse to legal proceedings for its recovery clearly would not have solved the company's practical problem.

The appellant's submission on this aspect of the case was that it was wrong to conclude from all the circumstances that its conduct was analogous to threatened duress to the helicopter or the right of the respondent to take away the helicopter. The chief points made in support of this general submission were that the threat that the appellant would not permit the respondent to take away the helicopter was never expressed, and that the respondent's subsequent behaviour showed that it did not regard itself as having been threatened as was later alleged on its behalf.

On the first of these arguments, it does not seem to me to be sufficient for the appellant's purposes to show that no express threat was made. If circumstances for which the appellant was responsible conveyed the threat to the respondent, then the threat of duress would operate as forcefully as if it were put into words. Brownie J accepted that Messrs Barnao and Hough believed that the threat was being made; in light of the materials upon which Brownie J made this finding, it was not seriously

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open to challenge in this court, and was not challenged by the appellant. The appellant's submission was rather that the circumstances could not reasonably have given rise to the apprehension actually felt by the respondent's director and employee. However, in my opinion the circumstances were such as to make it reasonable for Messrs Barnao and Hough to believe that the appellant would withhold the helicopter from them unless the promise to pay were made. In this respect I adopt Brownie J's statement of fact justifying such a view:

> the helicopter was not physically ready for delivery at the time promised, they [that is Messrs Barnao and Hough] were told they had to see Bartlett before being able to take delivery, and Bartlett presented himself to them as being ready to argue what defects were or were not the responsibility of the defendant, this being rather different to what he had said to Barnao on an earlier occasion, and as not being prepared to release the helicopter without the payment or promise of payment.

The very last matter mentioned in the summary just quoted was criticised by counsel for the appellant, but as Mr Bartlett had told Messrs Barnao and Hough, according to para 6 of a written statement of his evidence, that "I don't expect you to pay cash, but it is company policy to require payment before releasing the helicopter", it seems to me that the inference drawn by Brownie J was justified. In short, I agree with Brownie J that the factual situation on 5 March 1987 presented a threat of duress by the appellant to Messrs Barnao and Hough. The other branch of the appellant's argument on this part of the appeal was the fact, in my opinion accurately found by Brownie J, that Mr Barnao fobbed off the appellant for some time, amounting to a matter of weeks, after 5 March 1987, with excuses for not paying the $4 300 and without making any contention that the agreement between the parties had been reached in circumstances of duress or threatened duress to the appellant. It was submitted that this state of affairs should be taken into account in considering whether there had in fact been duress or threat of duress on 5 March 1987. The failure to complain once what was later alleged to be [304] duress ceased to operate provided, it was submitted, a reason for not accepting the claim that duress or threat of duress had in fact been operative. However, I do not see how this consideration can help the appellant in the present case where the trial judge made positive findings of fact, which were open to him on the evidence and were of a kind which this court will not ordinarily interfere with, that both Messrs Barnao and Hough had believed on 5 March 1987 that the helicopter would not be released until the agreement was made and signed. In reaching that finding of fact, Brownie J seems to me to have had well in mind the argument based on the later fobbing-off period; on that basis, I do not think that the circumstances which occasionally lead this court into coming to different findings of fact from a trial judge, which arise when a clear error of some kind can be seen to have led to a wrong finding, exist in the present case.

In my opinion, the court should not interfere with Brownie J's finding that the document of 5 March 1987 was signed on behalf of the respondent as a result of conduct which was analogous to actual or threatened duress.

The other principal submission made for the appellant was that even if the period of fobbing-off was of no assistance to the appellant's contention concerning the fact of duress or threatened duress, the conduct of the respondent had affirmed the transaction embodied in the document of 5 March 1987. Reliance was placed on *North Ocean Shipping*, where (at 720) Mocatta J adopted as the relevant rule that because a contract entered into under duress was voidable and not void, a person who had entered into such a contract might either affirm or avoid it after the duress had ceased, and that acting under such a contract with full knowledge of the circumstances after escaping from the duress and taking no steps to set aside the transaction, a person might be found to have affirmed it. One question which this statement of the rule raises is whether "affirmation" is an intelligible legal category in its own right. In my opinion it is not but rather covers situations governed by two particular legal theories, election and estoppel. That is, in my opinion, to make a case of affirmation the appellant here needs to show either that the respondent elected not to avoid the contract or became estopped from asserting its right to avoid the contract.

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So far as election is concerned, two considerations appear from *Sargent v ASL Developments Ltd* (1974) 131 CLR 634, a case in which the High Court surveyed the doctrine of election in some detail. One is that the party which has the election is not bound to elect immediately. The party "may keep the question open so long as the delay does not cause prejudice to the other side": per Mason J at 656. The other consideration is that "The words or conduct ordinarily required to constitute an election must be unequivocal in the sense that it is consistent only with the exercise of one of the two sets of rights and inconsistent with the exercise of the other": see Stephen J at 646.

In the present case I doubt whether the fobbing-off period found by Brownie J caused any significant prejudice to the appellant. Thus the first of the two considerations mentioned would appear to me to favour the conclusion that the respondent did not elect to affirm the transaction of 5 March 1987. However, rather than base my conclusion on that view, I reach the same conclusion by reference to and base my opinion on the [305] second of the two considerations; that is, I do not think the respondent's conduct during the fobbing-off period was unequivocal in the necessary sense. The words being spoken on the respondent's behalf taken by themselves might be regarded as unequivocal in that they recognised the existence of the transaction of release, without protest about it; but, accompanying the fair words was the conduct of non-payment. If there had been nothing said during the fobbing-off period, and no payment had been made and then there had been a refusal to pay, I do not think it would have been arguable for the appellant that there had been any election to affirm the transaction. In the actual circumstances it seems to me Mr Bartlett would have been more likely to think that the respondent was trying to get out of the arrangement it had made than indicating an intention to carry it out.

When these considerations are taken together with his Honour's apparent acceptance of Mr Barnao's statement that during the fobbing-off period what he was doing "was buying time and attempting to ascertain where I stood regarding the fact that the helicopter had not been improved upon" (at 19 of transcript, and see Brownie J's finding at 16 of his reasons), I do not think that the excuses given by the respondent for non-payment are consistent only with the exercise of the rights which would flow from the transaction of 5 March 1987 and inconsistent with the exercise of the right to have that transaction avoided. Turning to estoppel, I note first that the type of situation where an estoppel may operate even although the doctrine of election does not is where the latter doctrine does not apply because the party with the right of election did not know his legal rights regarding election but nevertheless acted in such a way as to represent to the other party that the contract was being affirmed and that the other party then acted to that party's detriment on the basis of the representation.

In the present case the view I have arrived at concerning election does not depend upon the respondent's not being aware of its rights in that respect, although it may have been possible to reach such a conclusion. Assuming however that this is a case where the estoppel question is not decided by the same considerations that decide the election question, it seems to me to be sufficient to say that the respondent did not make any representation to the appellant clear enough to attract the operation of an estoppel nor can it be seen from the evidence that the appellant acted on any representation to its material detriment in a way attracting the doctrine.

My conclusion therefore is that the second branch of the appellant's argument also fails.

In my opinion the appeal should be dismissed with costs.

[34.55] CLARKE JA: I agree with the orders proposed by Priestley JA and, subject to a reservation which I express below on the affirmation issue, with his Honour's reasons for proposing those orders and wish only to add a few observations on two aspects of the case. It is well settled that money paid in order to get possession of goods wrongfully detained, or to avoid their wrongful detention, may be recovered in an action for money had and received (*Astley v Reynolds* (1731) 2 Str 915; 93 ER 939; *Maskell v Horner* [1915] 3 KB 106, at 118, where Lord Reading CJ said that the money was recoverable because although it was not [306] paid under duress in the strict sense (not being duress of the person) it was paid under conditions analogous to duress; *Smith v William Charlick Ltd* (1924) 34 CLR

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38 at 56). On the other hand the traditional view, according to *Chitty on Contracts* (26th ed, 1989), para 505, pp 337–8, is that the unlawful detention, or threatened detention of a person's goods, is not duress which will at common law enable the owner of the goods to avoid an agreement obtained by it. *Skeate v Beale* (1841) 11 Ad & El 983; 113 ER 688, is the authority cited in support of that view.

This distinction, if correct, leads to the absurd result that if A paid money under duress of goods he could recover the money paid but if he entered into a contract to pay money under similar duress he could not avoid the contract and would be obliged to pay the moneys due thereunder.

In my opinion the distinction is not supportable and to the extent that *Skeate* is authority for the so called traditional view it should not be followed. This is the view expressed in Goff & Jones, *The Law of Restitution* (2nd ed, 1978), p 170 (see also Beatson, "Duress as a Vitiating Factor in Contract" (1974) 33 *Cambridge Law Journal* 97 at 108) and by Kerr J in *The Siboen and The Sibotre* [1976] 1 Lloyd's Rep 293 and accords with the authorities cited by Priestley JA. The second aspect is affirmation on which I am content to adopt the approach of Brownie J and pose the question whether the respondent had subsequently affirmed the contract. In this respect I am of opinion that, while there is considerable force in the appellant's submissions, his Honour correctly concluded that in the particular circumstances of this case the respondent had not affirmed the contract.

[HANDLEY JA delivered a judgment in which he agreed that the appeal should be dismissed.]

Appeal dismissed.

[34.60] Note

In *Occidental Worldwide Investment Corps v Skibs A/S Avanti (The "Siboen" and The "Sibotre")* [1976] 1 Lloyd's Rep 293, referred to in the principal case, Kerr J said, at 335:

> If I should be compelled to sign a lease or some other contract for a nominal but legally sufficient consideration under an imminent threat of having my house burnt down or a valuable picture slashed, though without any threat of physical violence to anyone, I do not think that the law would uphold the agreement. I think that a plea of coercion or compulsion would be available in such cases. The latter is the term used in a line of Australian cases of strong persuasive authority: *Nixon v Furphy* (1925) 25 SR (NSW) 151 and in the High Court of Australia in (1925) 37 CLR 161, in *Re Hooper and Grass' Contract* [1949] VLR 269, and *TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd* [1956] SR (NSW) 323. These judgments also state that the degree of compulsion or duress is not necessarily limited to cases of threats to the person or duress in relation to goods. Further, I think that there are indications in *Skeate v Beale* itself and in other cases that the true question is ultimately whether or not the agreement in question is to be regarded as having been concluded voluntarily; but it does not follow that every agreement concluded under some form of compulsion is ipso facto to be regarded as voluntary with the solitary exception of cases involving duress to the person. In *Wakefield v Newbon* (1844) 6 QB 276; 115 ER 107, Lord Denman referred to cases such as *Skeate v Beale* as: "that class where the parties have come to a voluntary settlement of their concerns, and have chosen to pay what is found due".
>
> *Skeate v Beale* may perhaps be regarded as a case in which the victim of the threat had a real alternative to submission and "room for appeal to the law for a remedy".

Where a person is withholding a chattel under a bona fide claim of right, a contract to pay for its return may constitute a valid compromise of the claim.

THREATS TO BREACH A CONTRACT

[34.65] Drawing on the restitution cases of compulsion and the equitable doctrine of coercion, the courts have recognised a concept of "economic duress". This category most commonly associates with threats to discontinue performance of an existing contract unless some concession is given. It has been recognised as a possible form of illegitimate pressure, even though the promise extracted is supported by consideration. The question posed is whether the new or varied contract that has been procured under pressure should be regarded as voidable or whether it should be regarded as a valid compromise or settlement of a claim. Much will depend on whether there was a threat by the defendant not to perform as opposed to a mere statement of position and whether that threat was a factor caused the plaintiff to renegotiate the contract.

TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd (1955) 56 SR (NSW) 323, at [10.90], illustrates the application of the concept of duress to threats to discontinue performance of an existing contract. For further discussion of the concept of economic duress, see the judgment of Lord Scarman in *Pao On v Lau Yiu Long* [1980] AC 614 at [4.150]. In Australia, the most frequently cited statement of what amounts to economic duress is that of McHugh JA in *Crescendo Management Pty Ltd v Westpac Banking Corporation* (1988) 19 NSWLR 40, 45–6:

> The rationale of the doctrine of economic duress is that the law will not give effect to an apparent consent which was induced by pressure exercised upon one party by another party when the law regards that pressure as illegitimate. … Pressure will be illegitimate if it consists of unlawful threats or amounts to unconscionable conduct. But the categories are not closed. Even overwhelming pressure, not amounting to unconscionable conduct, however, will not necessarily constitute economic duress.

See also *Beerens v Bluescope Distribution Pty Ltd* [2012] VSCA 209; (2012) 39 VR 1, [46]; *Electricity Generation Corporation t/a Verve Energy v Woodside Energy Ltd* [2013] WASCA 36, [30], [184], appeal allowed on different issue in *Electricity Generation Corporation v Woodside Energy Ltd* (2014) 251 CLR 640.

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[34.70] Lawful threats may in some, albeit unique, instances give rise to duress. It has been said that if "the pressure is lawful, it may still be illegitimate if there is no reasonable or justifiable connection between the nature of the pressure being applied and the demand which that pressure supports": *Universe Tankships Inc of Monrovia v International Transport Workers Federation* [1983] 1 AC 366, 401 per Lord Scarman; *R v Her Majesty's Attorney-General for England and Wales (New Zealand)* [2003] UKPC 22, [15]–[20]; *Electricity Generation Corporation t/a Verve Energy v Woodside Energy Ltd* [2013] WASCA 36, [25] but cf [176], appeal allowed on different issue in *Electricity Generation Corporation v Woodside Energy Ltd* [2014] HCA 7; (2014) 251 CLR 640. See also *CTN Cash & Carry Ltd v Gallaher* [1994] 4 All ER 714; *Times Travel (UK) Ltd v Pakistan International Airlines Corporation* [2019] EWCA Civ 828.

It has sometimes also been suggested that lawful act duress might better be seen as part of the doctrines of undue influence and unconscionable dealing, see *Australia & New Zealand*

Banking Group v Karam [2005] NSWCA 344; (2005) 64 NSWLR 149, [66]–[67]. In *Thorne v Kennedy* the High Court declined to address the questions about whether duress required an unlawful act or whether lawful act duress added anything to the existing doctrine of unconscionable conduct: [2017] HCA 49; (2017) 263 CLR 85, [29] (Kiefel CJ, Bell, Gageler, Keane and Edelman JJ), see also [71]–[74] (Nettle J expressing a preference for including illegitimate pressure through a lawful act within the concept of duress).

CHAPTER **35**

Undue influence

[35.10] RELATIONSHIPS OF INFLUENCE 1047
[35.15] *Johnson v Buttress* 1048
[35.20] *Thorne v Kennedy* 1051

[35.05] As discussed in Chapter 34, a party (the *plaintiff*) wanting to avoid a contract on the basis of duress must prove that he or she was coerced by illegitimate pressure by the other party (the *defendant*) into making or varying the contract. This chapter considers the situation where the plaintiff has been subjected to a more subtle form of influence. It covers the situation where a plaintiff, by virtue of reliance on and confidence in the defendant, suffers from impaired judgment as to her or his own best interests. The main remedy available to a plaintiff in case of undue influence, as of duress, is *rescission*. This form of relief, and the bars to it, are considered in more detail in Chapter 39.

RELATIONSHIPS OF INFLUENCE

[35.10] Undue influence is concerned with "the quality of the consent or assent" of the plaintiff in circumstances in which the *defendant* occupies a position of ascendency of influence.[1] Undue influence may be established through the circumstances of the particular transaction. Relief may also be available if the plaintiff can prove that a *relationship* of influence existed between the parties, that is, a relationship characterised by the ascendancy of one party over the other. In such a case, the courts in equity recognise that there is a *presumption* that undue influence was exercised by the defendant over the plaintiff. It is the defendant who must rebut this presumption by proving that the contract (or gift) was *not* the result of abuse of influence but was entered into only after full free and informed thought.

Equity *deems* certain relationships to be relationships of influence: parent and child, guardian and ward, religious advisor and disciple, solicitor and client, doctor and patient. The relationship of accountant (or financial adviser) and client is not such a relationship. Relationships of a fiduciary kind do not per se fall within the category, as not all fiduciary relationships are relationships of influence. No presumption of influence arises from the relationship of husband and wife, although in *Yerkey v Jones* (1940) 63 CLR 649, 675 Dixon J stated that the relationship had never been divested completely of "equitable presumptions of an invalidating tendency", as discussed further in Chapter 37.

Even if a relationship is not deemed to be one of influence, a plaintiff may nevertheless prove that it is *in fact* such a relationship, for example by presenting evidence that he or she placed trust and confidence in the other and relied on the other for guidance. If a relationship of influence is neither proved nor deemed, then as noted, the plaintiff in seeking to avoid the contract has the burden of proving *actual* undue influence. Thus, in *Allcard v Skinner* (1887)

1 *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447, 474; *Bridgewater v Leahy* (1998) 194 CLR 457, [74].

36 Ch D 145, 171 Cotton LJ, speaking in the context of gifts, distinguished two categories of equitable intervention:

> First, where the court has been satisfied that the gift was the result of influence expressly used by the donee for the purpose; second, where the relations between the donor and donee have at or shortly before the execution of the gift been such as to raise a presumption that the donee had influence over the donor.

The following cases illustrate the second category.

Johnson v Buttress

[35.15] *Johnson v Buttress* (1936) 56 CLR 113 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: A suit was brought in the equitable jurisdiction of the Supreme Court of New South Wales by the *plaintiff*, administrator cum testamento annexo of the will of his deceased father (Buttress), against Mary Elizabeth Johnson, the *defendant*. The plaintiff sought to set aside a document signed by Buttress on 24 March 1931, whereby he transferred to the defendant a piece of land near Sydney, on which was erected a cottage in which Buttress had lived for many years. Buttress was illiterate and unstable in his relations with other persons. He was dependent for his living upon the rent he received from the cottage, and had practically no other assets save a small quantity of furniture and personal effects and a life policy of about £50. The action arose in the following way.

The defendant and her husband had known Buttress for more than 20 years and notwithstanding their completely different modes of life, the defendant kept up a familiarity with Buttress and his wife during this time. During an illness from which Buttress's wife ultimately died, the defendant rendered such aid and comfort as she was able to provide. After the death of his wife, Buttress made a will in favour of his stepson's child. The will which it superseded constituted his son as the sole beneficiary, but his son had long since ceased to please him. Buttress left the cottage, having found tenants for it, and visited one of his sisters, a Mrs Job, in Melbourne. On his return, he made another will leaving the property to Mrs Job for life and after her death to Mrs Hart, a daughter of another sister. Buttress had visited the defendant a number of times and ultimately expressed a wish to make a will in her favour, stating that he desired that his son should get nothing. In due course the will was made. From this time on the frequency of Buttress's visits to the defendant's home increased and finally he said that he wished to transfer the property to her. The transfer was handled by the defendant's solicitor. According to the account given by the managing clerk, the defendant said that Buttress wished to transfer the property to her. In an answer to a question Buttress confirmed the statement. He produced the certificate of title and said that that was the property. To a question whether he was selling it, he replied, no, that he was giving it, that he wanted the witness to deed it over to her. The witness asked if he understood that the defendant was not paying anything for it and could he tell him if there was any reason for it. Buttress answered that he wanted her to have it; she was very good to his wife and he was very fond of her. The transfer was then prepared and the consideration was given as natural love and affection. Buttress lived with the defendant for about three weeks and then went to live, at first in a tent and later in a shack which he built, on land owned by the defendant. Arrangements were made for him to receive supplies of milk and the like and the defendant sent him clothes and other necessaries from time to time as well as the net amount of the rent from the cottage. He was visited by the defendant regularly and visited her occasionally. He lived thus for some three years. Eventually he became ill, and on his way to hospital gave another will which he had lately made to Mrs Hart. Under it Mrs Hart was the sole beneficiary. The transfer to the defendant and the will in her favour were not made known to any of Buttress's relatives until after his death, but the defendant's evidence was that Buttress himself forbade any disclosure.

Nicholas J found that Buttress was a man of less than average intelligence; that he had little or no experience of or capacity for business; that when he executed the transfer he did not understand that

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he had parted with the land and cottage irrevocably. The primary judge held that, upon the evidence, the transfer could not stand and must be set aside.

From that decision the defendant appealed to the High Court.]

DIXON J [stated the facts and continued]: [133] This narrative of facts includes no circumstances or combination of circumstances positively inconsistent with the existence in Buttress when he transferred the land of a full understanding of the consequences of his act and a judgment freely exercised in favour of the object of his bounty, whether based on gratitude, esteem or confidence in her future help protection and solicitude, or on a mixture of these motives. Nicholas J did not believe that the transaction originated in the old man's mind, or that he understood its final character. His Honour thought that the purpose with which the transaction had been suggested to him was to render the gift already made by will irrevocable and to prevent an application under the *Testator's Family Maintenance and Guardianship of Infants Act*. No doubt these are reasonable explanations of the conduct of the parties and arise upon the facts themselves. But it is difficult to find enough in the evidence to establish them as affirmative conclusions. If the circumstances of the transaction are such as to throw upon the donee the burden of justifying it as an independent act resolved upon by a free and understanding mind, the burden could not be discharged unless such a view of the origin and purpose of the transfer were negatived by satisfactory evidence. But, on the other hand, if positive proof is required that [134] the transfer was procured by the improper exercise of an actual ascendancy or domination gained over the donee, and the case cannot rest on presumption, then, in my opinion, that requirement is not satisfied.

The basis of the equitable jurisdiction to set aside an alienation of property on the ground of undue influence is the prevention of an unconscientious use of any special capacity or opportunity that may exist or arise of affecting the alienor's will or freedom of judgment in reference to such a matter. The source of power to practise a domination may be found in no antecedent relation but in a particular situation, or in the deliberate contrivance of the party. If this be so, facts must be proved showing that the transaction was the outcome of such an actual influence over the mind of the alienor that it cannot be considered his free act. But the parties may antecedently stand in a relation that gives to one an authority or influence over the other from the abuse of which it is proper that he should be protected. When they stand in such a relation, the party in the position of influence cannot maintain his beneficial title to property of substantial value made over to him by the other as a gift, unless he satisfies the court that he took no advantage of the donor, but that the gift was the independent and well understood act of a man in a position to exercise a free judgment based on information as full as that of the donee. This burden is imposed upon one of the parties to certain well known relations as soon as it appears that the relation existed and that he has obtained a substantial benefit from the other. A solicitor must thus justify the receipt of such a benefit from his client, a physician from his patient, a parent from his child, a guardian from his ward and a man from the woman he has engaged to marry.

The facts which must be proved in order to satisfy the court that the donor was freed from influence are, perhaps, not always the same in these different relationships, for the influence which grows out of them varies in kind and degree. But while in these and perhaps one or two other relationships their very nature imports influence, the doctrine which throws upon the recipient the burden of justifying the transaction is confined to no fixed category. It rests upon a principle. It applies whenever one party occupies or assumes [135] towards another a position naturally involving an ascendancy or influence over that other, or a dependence or trust on his part. One occupying such a position falls under a duty in which fiduciary characteristics may be seen. It is his duty to use his position of influence in the interest of no one but the man who is governed by his judgment, gives him his dependence and entrusts him with his welfare. When he takes from that man a substantial gift of property, it is incumbent upon him to show that it cannot be ascribed to the inequality between them which must arise from his special position. He may be taken to possess a peculiar knowledge not only of the disposition itself but of the circumstances which should affect its validity; he has chosen to accept a benefit which may well proceed from an abuse of the authority conceded to him, or the

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confidence reposed in him; and the relations between him and the donor are so close as to make it difficult to disentangle the inducements which led to the transaction. These considerations combine with reasons of policy to supply a firm foundation for the presumption against a voluntary disposition in his favour. But, except in the well recognised relations of influence, the circumstances relied upon to establish an antecedent relation between the parties of such a nature as to necessitate a justification of the transaction will be almost certain to cast upon it at least some measure of suspicion that active circumvention has been practised. This often will be so even when the case falls within the list of established relations of influence. Because of the presence of circumstances which might be regarded as presumptive proof of express influence, cases outside the list but nevertheless importing a special relationship of influence sometimes are treated as if they were not governed by the presumption but depended on an inference of fact. Scrutton LJ has remarked on the inclination of common law judges:

> to rely more on individual proof than on general presumption, while considering the nature of the relationship and the presence of independent advice as important, though not essential, matters to be considered on the question whether the transaction in question can be supported: *Lancashire Loans Ltd v Black* [1934] 1 KB 404.

Further, when the transaction is not one of gift but of purchase or other [136] contract, the matters affecting its validity are necessarily somewhat different. Adequacy of consideration becomes a material question. Instead of inquiring how the subordinate party came to confer a benefit, the court examines the propriety of what wears the appearance of a business dealing. These differences form an additional cause why cases which really illustrate the effect of a special relation of influence in raising a presumption of invalidity are often taken to decide that express influence which is undue should be inferred from the circumstances.

The decision of the present appeal depends, I think, altogether on the question whether, before the transfer, Mrs Johnson, or possibly the Johnson family collectively, stood in a special relation of influence to Buttress. The suggested relation has not its exact counterpart in any decided case. But this is of little weight. The rule must not be narrowed; the risk must not be run of fettering the exercise of the jurisdiction by an enumeration of persons against whom it should be exercised; the relief stands upon a general principle applying to all the variety of relations in which dominion may be exercised by one person over another …

The first and most important consideration affecting the question is the standard of intelligence, the equipment and character of Buttress. No doubt, once it is established that a relation of influence exists, the presumption arises independently of these matters. It [137] has been said that it is an error to treat the subjects of capacity and of influence as if they were separate elements … But, in any case, in this peculiar case it is the man's illiteracy, his ignorance of affairs, and his strangeness in disposition and manner that provide the foundation for the suggested relation. For many years he had leant upon his wife, and it is evident that, after her death, he was at a loss for guidance and support. He turned first to one and then to another for a prop. His affairs of business were in reality few and simple. But to him they seem to have loomed large. A claim that his deceased wife owed money for some cash orders threw him into a state of great excitement. The question whether he could obtain an old-age pension troubled him …. In making a will in favour of his stepson's child, and then a second will in favour of Mrs Job, he showed how unstable his attachments were. It is possible that he regarded will-making as a means of securing that help and support which he so much needed. After his return from Melbourne, he began to place increasing reliance upon Mrs Johnson and the members of her family. Then the difficulties with his tenants developed. Whether Mrs Johnson's advice on her visit to the premises or his own temperament was the cause of the trouble, it is clear that the attempt to get his tenants out became the source of great concern and difficulty to him. It was a matter with which he could not cope. He relied on the Johnsons to manage it for him …. Little doubt can be felt that ultimately he came so to depend upon Mrs Johnson that a full relation of influence over him subsisted …. [138] It is not, I think, illogical to consider as an additional piece of evidence bearing upon this question the significance of the transfer itself. Whether its purpose was to prevent an application under the *Testator's Family Maintenance and Guardianship of*

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Infants Act, or simply to confer an immediate benefit upon Mrs Johnson in the confident expectation that she would look after him for the rest of his life, the fact that Buttress was prepared to make over to her his sole property shows how far his trust in her had advanced ….

I think that when the circumstances of the case are considered with the character and capacity of Buttress they lead to the conclusion that an antecedent relation of influence existed which throws upon Mrs Johnson the burden of justifying the transfer by showing that it was the result of the free exercise of the donor's independent will. This, in my opinion, she has quite failed to do. Her appeal should, therefore, be dismissed.

[LATHAM CJ and McTIERNAN J delivered a similar judgment. STARKE J agreed that the appeal should be dismissed on the ground that the evidence justified the finding of the primary judge that the transfer was proved to be the result of *actual* undue and unfair pressure on the part of the donee. EVATT J agreed with Dixon J.]

Appeal dismissed.

Thorne v Kennedy

[35.20] *Thorne v Kennedy* [2017] HCA 49; (2017) 263 CLR 85 (High Court of Australia) – Appeal from Family Court of Australia.

[FACTS: The facts are set out in the judgement of Kiefel CJ, Bell, Gageler, Keane and Edelman JJ.]

KIEFEL CJ, BELL, GAGELER, KEANE AND EDELMAN JJ:

[90] [1] This appeal concerns two substantially identical financial agreements, a pre-nuptial agreement and a post-nuptial agreement which replaced it, made under Pt VIIIA of the *Family Law Act* 1975 (Cth). The agreements were made between a wealthy property developer, Mr Kennedy, and his fiancée, Ms Thorne. The parties met online on a website for potential brides and they were soon engaged. In the words of the primary judge, Ms Thorne came to Australia leaving behind "her life and minimal possessions … If the relationship ended, she would have nothing. No job, no visa, no home, no place, no community" (*Thorne & Kennedy* [2015] FCCA 484 at [91]). The pre-nuptial agreement was signed, at the insistence of Mr Kennedy, very shortly before the wedding in circumstances in which Ms Thorne was given emphatic independent legal advice that the agreement was "entirely inappropriate" and that Ms Thorne should not sign it.

[2] One of the issues before the primary judge, Judge Demack, was whether the agreements were voidable for duress, undue influence, or unconscionable conduct. The primary judge found that Ms Thorne's circumstances led her to believe that she had no choice, and was powerless, to act in any way other than to sign the pre-nuptial agreement. Her Honour held that the post-nuptial agreement was signed while the same circumstances continued, with the exception of the time pressure. The agreements were both set aside for duress, although the primary judge used that label interchangeably with undue influence, which is a better characterisation of her findings. The Full Court of the Family Court of Australia (Strickland, Aldridge and Cronin JJ) allowed an appeal and dismissed a notice of contention by Ms Thorne, concluding that the agreements had not been vitiated by duress, undue influence, or unconscionable conduct. For the reasons [91] which follow, the findings and conclusion of the primary judge should not have been disturbed. The agreements were voidable due to both undue influence and unconscionable conduct.

[3] The names, and some details, of the parties were suppressed during the course of this litigation. That approach was generally followed on this appeal, including the use of pseudonyms to describe the parties.

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Background

[4] The parties met over the internet in 2006. At the time, Ms Thorne, who was an Eastern European woman, was living in the Middle East. She was 36 years old. She had no substantial assets. She previously had been married and divorced and was subsequently in a four year de facto relationship which ended when her partner moved to Kuwait for work. Mr Kennedy was a 67 year old Greek Australian property developer. He had assets worth between $18 million and $24 million. He was divorced with three adult children.

[5] Ms Thorne's profile on the website on which they met described her as a single woman with no children, of the Greek Orthodox religion, who spoke a little English and Greek. She shared the same religion with Mr Kennedy and generally conversed with him in Greek. Mr Kennedy travelled overseas to meet Ms Thorne very shortly after meeting her online. He told her that if he liked her then he would marry her but that "you will have to sign paper. My money is for my children" (*Thorne & Kennedy* [2015] FCCA 484 at [33]).

[6] During their courtship phase, Mr Kennedy travelled overseas twice to meet Ms Thorne. He took her on an extended holiday around Europe, during which he met her family. He bought her expensive jewellery. In February 2007, about seven months after Mr Kennedy and Ms Thorne met, they moved to Australia to live in Mr Kennedy's expensive penthouse with the intention of getting married.

[7] The wedding between Ms Thorne and Mr Kennedy was set for 30 September 2007. On 8 August 2007, Mr Kennedy had instructed a solicitor to prepare a pre-nuptial agreement. It is unclear whether Ms Thorne was, at this time, aware of the agreement but she was certainly not aware of its contents. Around 19 September 2007, Mr Kennedy told Ms Thorne that they were going to see solicitors about the signing of an agreement. Ms Thorne asked Mr Kennedy whether he required her to sign the agreement. He replied that if she did not sign it then the wedding would not go ahead. On 20 September 2007, Mr Kennedy took Ms Thorne and her sister to see an independent solicitor, Ms Harrison, who was an accredited family law specialist. Mr Kennedy waited in the car outside. It was during this [92] appointment that Ms Thorne first became aware of the contents of the agreement. By this time, Ms Thorne's parents and sister had been flown to Australia from Eastern Europe and accommodated for the wedding by Mr Kennedy. Guests had been invited to the wedding. Ms Thorne's dress had been made. The wedding reception had been booked.

[8] The day after the meeting, Ms Harrison produced a written advice to Ms Thorne which she subsequently explained to Ms Thorne. There was no dispute that Ms Harrison's advice was accurate. Some of the key features of Ms Harrison's advice were as follows:

(1) The agreement provided for Ms Thorne to receive maintenance during the marriage of the greater of (i) $4,000 per month or (ii) 25% of the net income from the management rights of a proposed development. Ms Harrison observed that the $4,000 per month contained no provision for increase and was a very poor provision from someone in Mr Kennedy's circumstances.

(2) Ms Thorne would be permitted to live rent free in a penthouse located in the proposed development and her family would be permitted to live rent free in a unit located in that development. Ms Harrison noted, however, that Ms Thorne had informed her that the local council had refused planning permission for the proposed development.

(3) If Ms Thorne and Mr Kennedy separated within the first three years of marriage, with or without children, then Ms Thorne would get nothing. The rights described above would also cease.

(4) If Ms Thorne and Mr Kennedy separated after three years, without children, Mr Kennedy would only have an obligation to pay a single lump sum of $50,000 to Ms Thorne. This payment was indexed to the Consumer Price Index if the separation occurred after 1 July 2011. Ms Harrison described this amount as "piteously small".

(5) If Mr Kennedy died while they were living together and while they had not separated then the agreement provided that Ms Thorne would be entitled to (i) a penthouse in the proposed

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> development or, if that were not possible, a unit she chose in the same city not exceeding a market value of $1.5 million; (ii) 40% of the net income of the management rights of the proposed development or $5,000 per month, indexed annually, whichever was the greater; and (iii) the Mercedes Benz car that was presently in her possession or a replacement vehicle of the same or higher value.

[93] [9] Ms Harrison's advice concluded as follows:

> I believe that you are under significant stress in the lead up to your wedding and that you have been put in a position where you must sign this Agreement regardless of its fairness so that your wedding can go ahead. I also understand from what you have told me that you are longing to have a child and you see your relationship with [Mr Kennedy] as the opportunity to fulfil what may well be a long held desire. I hold significant concerns that you are only signing this Agreement so that your wedding will not be called off. I urge you to reconsider your position as this Agreement is drawn to protect [Mr Kennedy's] interests solely and in no way considers your interests.

[10] On 21 September 2007, the same day that Ms Harrison had produced her written advice, the solicitors for Mr Kennedy wrote to Ms Harrison. The solicitors referred to amendments to the agreement that Ms Harrison had sought which had been incorporated. The solicitors then said that since the wedding was scheduled for 30 September it was Mr Kennedy's preference that the agreement be signed that day, ie on 21 September 2007.

[11] The amendments made to the agreement at Ms Harrison's suggestion were relatively minor amendments concerning the provision for Ms Thorne if Mr Kennedy died while they were married and co-habiting. The provision concerning Ms Thorne's entitlement to a penthouse initially provided for the penthouse to be in the proposed development or in the same city if the development did not proceed. The amendment added the words "or if for any other reason the penthouse cannot be transferred to [Ms Thorne]". The second amendment concerned the mechanics of Mr Kennedy's undertaking to execute a will containing provision for Ms Thorne. The amendment added the words "if necessary a testamentary trust" and it was also provided that Mr Kennedy "will ensure that any further testamentary dispositions are drawn to contain these provisions and [Mr Kennedy] shall not execute any further testamentary dispositions without these provisions". No issue was raised in this proceeding about the enforceability of this provision.

[12] On 24 September 2007, Ms Harrison explained her advice to Ms Thorne. Ms Thorne understood Ms Harrison's oral advice to be that the agreement was the worst agreement that Ms Harrison had ever seen. Ms Harrison's evidence was that the agreement was entirely inappropriate and that she told Ms Thorne that Ms Thorne should not sign it. Although Ms Thorne was advised by Ms Harrison about the effect of the agreement if Mr Kennedy chose to separate from her, Ms Thorne did not even turn her mind to the possibility that Mr Kennedy would separate from her, or the consequences about [94] which she was advised. Ms Thorne also believed that she would never leave Mr Kennedy. Her concerns were focused only upon her rights under the agreement if Mr Kennedy should predecease her.

[13] The first agreement was signed by Ms Thorne on 26 September 2007, four days before her wedding. The agreement contained a recital that within 30 days Mr Kennedy and Ms Thorne would sign another agreement in similar terms.

[14] The terms of the second agreement were substantially identical to the first. On 5 November 2007, Ms Thorne met with Ms Harrison to get advice on the second agreement. As Ms Harrison had done in relation to the first agreement, Ms Harrison again urged Ms Thorne not to sign the second agreement. During this meeting, Ms Thorne received a phone call from Mr Kennedy asking how much longer she was going to be. Ms Harrison gained the impression that Ms Thorne was being pressured to sign the document. Again, Ms Thorne ignored Ms Harrison's advice and signed the second agreement on the same day, 5 November 2007.

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[15] On 16 June 2011, slightly less than four years after the marriage, Mr Kennedy signed a separation declaration. Mr Kennedy and Ms Thorne separated, without children, in August 2011. Ms Thorne commenced this proceeding in April 2012. She sought orders, including orders setting aside the two agreements, an adjustment of property order in the amount of $1.1 million, and a lump sum spousal maintenance order of $104,000. Mr Kennedy died in May 2014, during the trial. He was substituted as a party by the executors and trustees of his estate, who were two of his adult children.

The statutory context

[16] In 1929, the House of Lords held that an agreement could not exclude the power of the courts, which had existed since 1857, to make financial adjustment between the parties following the breakdown of a marriage (*Hyman v Hyman* [1929] AC 601). The agreement might be taken into account when the court quantifies the amount of maintenance but it would not be binding (*Hyman v Hyman* [1929] AC 601 at 609 per Lord Hailsham LC). Section 87(1)(k) of the *Matrimonial Causes Act* 1959 (Cth) modified that principle by empowering a court to "sanction" pre-nuptial or post-nuptial agreements concerning property distribution or maintenance (*Shaw v Shaw* (1965) 113 CLR 545; [1965] HCA 39). That Act was repealed and replaced by the *Family Law Act*, which introduced a regime for registration of certain types of maintenance agreements and a regime for certain other maintenance agreements to be approved by the court.

[95] [17] On 27 December 2000, the *Family Law Act* was amended to "encourage people to agree about the distribution of their matrimonial property and thus give them greater control over their own affairs, in the event of marital breakdown" (Australia, House of Representatives, Family Law Amendment Bill 2000, Further Revised Explanatory Memorandum at 6). The amendments to the *Family Law Act* introduced Pt VIIIA, which allows couples to make regulated financial agreements. These agreements include financial agreements before marriage and after marriage, commonly described as pre-nuptial and post-nuptial agreements.

[18] Part VIIIA of the *Family Law Act* imposes various requirements before a financial agreement will be binding and restrictions upon the content of those agreements. One restriction, in s 90G(1) (the effect of which has since been modified by the insertion of s 90G(1A)), is a requirement that the financial agreement contain a statement from each party that the party was provided with independent legal advice concerning the effect of the agreement on the party's rights and the advantages and disadvantages of making the agreement.

[19] Another restriction upon pre-nuptial and post-nuptial agreements is s 90F, which, by ss 90F(1) and 90F(1A), prohibits the agreement from excluding or limiting the power of a court to make an order in relation to the maintenance of a party if:

> when the agreement came into effect, the circumstances of the party were such that, taking into account the terms and effect of the agreement, the party was unable to support himself or herself without an income tested pension, allowance or benefit.

[20] Despite Ms Thorne's extremely limited personal means, the agreements purported to provide for an "acknowledgement" that Ms Thorne was able to support herself without an income tested pension, allowance or benefit. It seems that this clause was an attempt to oust the operation of s 90F of the *Family Law Act*. However, no submissions were made about s 90F before the primary judge or before the Full Court. In this Court, it assumed significance only as a matter for contextual construction after it was drawn to the attention of the parties by the Court.

[21] The restriction upon the validity of financial agreements which is central to this appeal is contained in ss 90K and 90KA. Section 90K(1) provides that a court may make an order setting aside a financial agreement if the court is satisfied of matters including, in s 90K(1)(b), "the agreement is void, voidable or unenforceable" and, in s 90K(1)(e), "a party to the agreement engaged in conduct that was, in all the circumstances, unconscionable". Section 90KA then provides, in part, that the question whether a financial agreement is valid, enforceable or [96] effective "is to be determined by the court according to the principles of law and equity that

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are applicable in determining the validity, enforceability and effect of contracts and purported contracts".

The issues in this case

[22] The issues raised by the notice of appeal in this case concerned whether the Full Court erred in finding error in the primary judge's conclusion that the agreements should be set aside. The only issues were whether the agreements should be set aside because Ms Thorne was subject to any of the vitiating factors of duress, undue influence, or unconscionable conduct in her entry into each of the agreements and whether the reasons of the primary judge were adequate.

[23] At all stages in this litigation it was assumed that each of the vitiating factors applied according to the principles of common law and equity as described in s 90KA. There were no submissions made concerning how the statutory prohibition against unconscionable conduct in s 90K(1)(e) might differ, if at all, from the equitable doctrine concerning unconscionable conduct. Further, although, in written submissions in this Court, Ms Thorne initially appeared to submit that the statutory context of ss 90K and 90KA might somehow have affected these principles, in oral submissions in this Court, counsel for Ms Thorne accepted that the principles were not altered although the particular circumstances of the marital context would be taken into account. This latter point was, properly, common ground.

[24] Two other issues do not arise. First, although the issue of causation was raised in oral argument in this Court, there was no ground of appeal in this Court or in the Full Court which alleged that causation was absent because Ms Thorne would have entered into either agreement in any event. It is therefore unnecessary to consider whether, as the oral submission assumed, but for any vitiating factor Ms Thorne would have entered into the agreements in any event (*Bank of Credit and Commerce International SA v Aboody* [1990] 1 QB 923 at 970-971. Cf *Barton v Armstrong* [1976] AC 104 at 120 per Lord Cross of Chelsea; *Crescendo Management Pty Ltd v Westpac Banking Corporation* (1988) 19 NSWLR 40 at 46 per McHugh JA, Samuels and Mahoney JJA agreeing). It can be observed, however, that the failure to raise any ground of appeal alleging an absence of either causation or contribution is unlikely to have been an oversight. Where duress, undue influence, or unconscionable conduct is otherwise shown, an inference of the necessary causation or contribution is readily drawn if the particular transaction cannot reasonably be accounted for by "ordinary motives" (*Allcard v Skinner* (1887) 36 Ch D 145 at 185 per Lindley LJ), as clearly appears from the circumstance that [97] Ms Thorne understood the advice of her solicitor to be that the agreements were the worst that the solicitor had ever seen.

[25] Secondly, this case concerns only the presence of a vitiating factor between parties to an agreement. It is not concerned with the circumstances in which a person can take the benefit of a transaction procured by the duress, undue influence, or unconscionable conduct of a third party. Where the recipient is not a volunteer (*Bridgeman v Green* (1757) Wilm 58 at 64-65 [97 ER 22 at 25]), the duress, undue influence, or unconscionable conduct of a third party raises additional issues (*Bainbrigge v Browne* (1881) 18 Ch D 188 at 198-199 per Fry J; *Smith v William Charlick Ltd* (1924) 34 CLR 38 at 56 per Isaacs J; [1924] HCA 13; *Bank of New South Wales v Rogers* (1941) 65 CLR 42 at 51-52 per Starke J, 60-61 per McTiernan J, 85 per Williams J; [1941] HCA 9).

Duress, undue influence, and unconscionable conduct

Duress

[26] The vitiating factor of duress focuses upon the effect of a particular type of pressure on the person seeking to set aside the transaction (*Westpac Banking Corporation v Cockerill* (1998) 152 ALR 267 at 289 per Kiefel J, Lindgren J agreeing). It does not require that the person's will be overborne (*Crescendo Management Pty Ltd v Westpac Banking Corporation* (1988) 19 NSWLR 40 at 45 per McHugh JA, Samuels and Mahoney JJA agreeing; *Director of Public Prosecutions for Northern Ireland v Lynch* [1975] AC 653 at 695). Nor does it require that the pressure be such as to deprive the person of any free agency or ability to decide. The person subjected to duress is usually able to assess alternatives and to make a choice. The person submits to the demand knowing "only too well" what he or she is doing

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(*Crescendo Management Pty Ltd v Westpac Banking Corporation* (1988) 19 NSWLR 40 at 45-46 per McHugh JA, Samuels and Mahoney JJA agreeing). As Holmes J said in *Union Pacific Railroad Co v Public Service Commission of Missouri* 248 US 67 at 70 (1918):

> It always is for the interest of a party under duress to choose the lesser of two evils. But the fact that a choice was made according to interest does not exclude duress. It is the characteristic of duress properly so called.

[27] Historically, the primary constraint upon an action based on duress was the threats that were recognised as sufficient for an action. The early common law rule was that the duress which was necessary to set aside an agreement required an unlawful threat or conduct in relation to the person's body, such as loss of life or limb (*Sumner v Ferryman* (1708) 11 Mod 201 [88 ER 989]; *Skeate v Beale* (1841) 11 Ad & E 983 [113 ER 688]; Blackstone, *Commentaries on the Laws of England*, (1765), bk 1, c 1 at 126-127). Even duress in relation to a person's goods was not a basis upon which an agreement [98] could be avoided at common law (*Skeate v Beale* (1841) 11 Ad & E 983 [113 ER 688]), although it was a basis for restitution of a payment of money (*Astley v Reynolds* (1731) 2 Str 915 [93 ER 939]). The abandonment of this common law restriction (*Occidental Worldwide Investment Corp v Skibs A/S Avanti (The Siboen and The Sibotre)* [1976] 1 Lloyd's Rep 293) introduced a difficult question. This question is whether duress should be based on any unlawful threat or conduct or, alternatively, whether other illegitimate or improper, yet lawful, threats or conduct might suffice (Beatson, "Duress by Threatened Breach of Contract", (1976) 92 *Law Quarterly Review* 496 at 497-498). In 1947, Dawson described that question as one "which has chiefly arrested the modern development of the law of duress" (Dawson, "Economic Duress – An Essay in Perspective", (1947) 45 *Michigan Law Review* 253 at 287).

[28] A significant focus of the submissions by Mr Kennedy's executors was that a conclusion of duress was not open to the primary judge because any pressure exerted by Mr Kennedy upon Ms Thorne did not involve any unlawful threat or conduct. Senior counsel relied upon a decision of the New South Wales Court of Appeal which held, consistently with the older common law cases, that duress at common law requires proof of threatened or actual unlawful conduct (*Australia & New Zealand Banking Group v Karam* (2005) 64 NSWLR 149 at 168 [66]). He submitted that Ms Thorne had not set out any "justifiable formulation" by which lawful act duress could apply.

[29] It was not necessary for the primary judge to consider common law duress. As will be explained later in these reasons, the sense in which the primary judge in this case described the pressure on Ms Thorne was to focus on Ms Thorne's lack of free choice (in the sense used in undue influence cases) rather than whether Mr Kennedy was the source of all the relevant pressure, or whether the impropriety or illegitimacy of Mr Kennedy's lawful actions might suffice to constitute duress. Nor did this Court receive any substantial submissions concerning when illegitimacy or impropriety might be established for duress at common law including in light of the statutory policy of the *Family Law Act* and, in that context, how the actions of Mr Kennedy should be characterised. In these circumstances, it is not necessary to address the arguments in favour of or against the conclusion of the New South Wales Court of Appeal that duress at common law requires proof of [99] threatened or actual unlawful conduct (*Australia & New Zealand Banking Group v Karam* (2005) 64 NSWLR 149 at 168 [66]). Nor is it necessary to consider whether the recognition of lawful act duress adds anything to the doctrine concerned with unconscionable conduct (Compare Bigwood, "Throwing the Baby Out with the Bathwater? Four Questions on the Demise of Lawful-Act Duress in New South Wales", (2008) 27(2) *University of Queensland Law Journal* 41).

Undue influence

[30] In *Allcard v Skinner* (1887) 36 Ch D 145 (at 183), Lindley LJ said that "no Court has ever attempted to define undue influence". One reason for the difficulty of defining undue influence is that the label "undue influence" has been used to mean different things (Swadling, "Undue Influence: Lessons from America?", in Mitchell and Swadling (eds), *The Restatement Third: Restitution and Unjust Enrichment: Critical and Comparative Essays*, (2013) 111 at 113). It has been used to include abuse of

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confidence (*Yerkey v Jones* (1939) 63 CLR 649 at 675; [1939] HCA 3), misrepresentation (*Royal Bank of Scotland plc v Etridge (No 2)* [2002] 2 AC 773 at 820 [103] per Lord Hobhouse of Woodborough), and the pressure which amounts to common law duress (*Royal Bank of Scotland plc v Etridge (No 2)* [2002] 2 AC 773 at 820 [103] per Lord Hobhouse of Woodborough). Each of those concepts is better seen as distinct. Nevertheless, the boundaries, particularly between undue influence and duress, are blurred (*Westpac Banking Corporation v Cockerill* (1998) 152 ALR 267 at 290 per Kiefel J, Lindgren J agreeing). One reason why there is no clear distinction is that undue influence can arise from widely different sources (*Royal Bank of Scotland plc v Etridge (No 2)* [2002] 2 AC 773 at 795 [7] per Lord Nicholls of Birkenhead), one of which is excessive pressure. Importantly, however, since pressure is only one of the many sources for the influence that one person can have over another, it is not necessary that the pressure which contributes to a conclusion of undue influence be characterised as illegitimate or improper (American Law Institute, *Restatement of the Law Third, Restitution and Unjust Enrichment*, (2011), §15, comment a; Burrows, *A Restatement of the English Law of Contract*, (2016) at 201-202, discussing *Langton v Langton* [1995] 2 FLR 890, *Killick v Pountney* [2000] WTLR 41, and *Daniel v Drew* [2005] EWCA Civ 507).

[31] In 1836, in a passage which was copied verbatim by Snell thirty years later (Snell, *The Principles of Equity, Intended for the use of Students and the Profession*, (1868) at 370), Story said that a person can be subjected to undue influence where the effect of factors such as pressure is that the person "has no [100] free will, but stands *in vinculis* [in chains]" (Story, *Commentaries on Equity Jurisprudence, as Administered in England and America*, (1836), vol 1 at 243). He explained that "the constant rule in Equity is, that, where a party is not a free agent, and is not equal to protecting himself, the Court will protect him" (Story, *Commentaries on Equity Jurisprudence, as Administered in England and America*, (1836), vol 1 at 243). In 1866, this approach was applied in equity by the House of Lords, recognising undue influence in a case of pressure that deprived the plaintiff of "free agency" (*Williams v Bayley* (1866) LR 1 HL 200 at 215-216 per Lord Chelmsford). In 1868, in probate, Sir James Wilde also described undue influence as arising where a person is not a "free agent" (*Hall v Hall* (1868) LR 1 P & D 481 at 482). In *Johnson v Buttress* (1936) 56 CLR 113 (at 134; [1936] HCA 41), Dixon J described how undue influence could arise from the "deliberate contrivance" of another (which naturally includes pressure) giving rise to such influence over the mind of the other that the act of the other is not a "free act". And, in *Bank of New South Wales v Rogers* (1941) 65 CLR 42 at 61, citing *Bainbrigge v Browne* (1881) 18 Ch D 188 at 196, 197 per Fry J and *Yerkey v Jones* (1939) 63 CLR 649 (at 677), McTiernan J characterised the absence of undue influence as a "free and well-understood act" and Williams J referred to "the free exercise of the respondent's will" (*Bank of New South Wales v Rogers* (1941) 65 CLR 42 at 85).

[32] The question whether a person's act is "free" requires consideration of the extent to which the person was constrained in assessing alternatives and deciding between them. Pressure can deprive a person of free choice in this sense where it causes the person substantially to subordinate his or her will to that of the other party (American Law Institute, *Restatement of the Law Third, Restitution and Unjust Enrichment*, (2011), §15). It is not necessary for a conclusion that a person's free will has been substantially subordinated to find that the party seeking relief was reduced entirely to an automaton or that the person became a "mere channel through which the will of the defendant operated" (*Tufton v Sperni* [1952] 2 TLR 516 at 530 per Jenkins LJ. See also *Bank of Credit and Commerce International SA v Aboody* [1990] 1 QB 923 at 969). Questions of degree are involved. But, at the very least, the judgmental capacity of the party seeking relief must be "markedly sub-standard" (Birks and Chin, "On the Nature of Undue Influence", in Beatson and Friedmann (eds), *Good Faith and Fault in Contract Law*, (1995) 57 at 67) as a result of the effect upon the person's mind of the will of another.

[33] An example which illustrates the characterisation by a court of a lack of free will sufficient to amount to undue influence is the decision [101] of this Court in *Johnson v Buttress* (1936) 56 CLR 113. In that case, Mr Buttress was a 67 year old man, who was "wholly illiterate, not very intelligent, and of little or no experience or capacity in business" (*Johnson v Buttress* (1936) 56 CLR 113 at 124). He made a voluntary transfer of land to a relative of his wife. The land was his only property and his only

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means of livelihood. When he made the transfer he did not understand that he had parted with the land irrevocably. After Mr Buttress died, the administrator of his estate brought an application to set aside the transfer. The trial judge set aside the transfer on the basis of undue influence. This decision was upheld in this Court. Although other members of the Court relied upon a presumption of undue influence, which is considered below, one member of the Court, Starke J, concluded that it was open to the trial judge to find that undue influence arose without any presumption. His Honour upheld the conclusion of the trial judge that the circumstances of the transfer invited the inference that it was "not the result of the free and deliberate judgment of the deceased" (*Johnson v Buttress* (1936) 56 CLR 113 at 126).

[34] There are different ways to prove the existence of undue influence. One method of proof is by direct evidence of the circumstances of the particular transaction. That was the approach relied upon by the primary judge in this case. Another way in which undue influence can be proved is by presumption. This presumption was relied upon by Ms Thorne in this Court as an alternative. A presumption, in the sense used here, arises where common experience is that the existence of one fact means that another fact also exists (*Calverley v Green* (1984) 155 CLR 242 at 264 per Murphy J; [1984] HCA 81). Common experience gives rise to a presumption that a transaction was not the exercise of a person's free will if (i) the person is proved to be in a particular relationship, and (ii) the transaction is one, commonly involving a "substantial benefit" (*Johnson v Buttress* (1936) 56 CLR 113 at 134 per Dixon J) to another, which cannot be explained by "ordinary motives" (*Allcard v Skinner* (1887) 36 Ch D 145 at 185 per Lindley LJ), or "is not readily explicable by the relationship of the parties" (*Royal Bank of Scotland plc v Etridge (No 2)* [2002] 2 AC 773 at 798 [21] per Lord Nicholls of Birkenhead). Although the classes are not closed, in *Johnson v Buttress* (1936) 56 CLR 113 (at 119. See also *Bank of New South Wales v Rogers* (1941) 65 CLR 42 at 51 per Starke J). Latham CJ described the relationships that could give rise to the presumption as including parent and child, guardian and ward, trustee and beneficiary, solicitor and client, physician and patient, and cases of religious influence. Outside [102] recognised categories, the presumption can also be raised by proof that the history of the particular relationship involved one party occupying a similar position of ascendency or influence, and the other a corresponding position of dependency or trust (*Johnson v Buttress* (1936) 56 CLR 113 at 134-135 per Dixon J). In either case, the presumption is rebuttable by the other party proving that the particular transaction or transfer, in its particular circumstances, was nevertheless the result of the weaker party's free will (*Spong v Spong* (1914) 18 CLR 544 at 549 per Griffith CJ; [1914] HCA 52; *Johnson v Buttress* (1936) 56 CLR 113 at 123 per Latham CJ).

[35] Ms Thorne submitted that she was entitled to the benefit of a presumption of undue influence because the relationship of fiancé and fiancée should be recognised as one to which the presumption attaches. This submission was concerned with a presumption of undue influence (that a transaction was the result of a lack of free will) and not with the different doctrine concerning the possibility of an abuse of confidence in any relationship of intimacy (*Garcia v National Australia Bank Ltd* (1998) 194 CLR 395; [1998] HCA 48). The submission should not be accepted.

[36] Although the relationship of fiancé and fiancée was first seen as falling within the recognised categories by Lord Langdale MR in 1848 (*Page v Horne* (1848) 11 Beav 227 at 235 [50 ER 804 at 807]), and although it was also recognised in this Court by Dixon J in 1936 (*Johnson v Buttress* (1936) 56 CLR 113 at 134) and 1939 (*Yerkey v Jones* (1939) 63 CLR 649 at 675), in 1961 in England Lord Evershed MR refused to apply the established presumption, saying that "this is 1961 and what might have been said of the position, independence, and the like, of women in 1848 would have to be seriously qualified to-day" (*Zamet v Hyman* [1961] 1 WLR 1442 at 1446; [1961] 3 All ER 933 at 937-938). In 1992 in *Louth v Diprose* (1992) 175 CLR 621 (at 630; [1992] HCA) Brennan J observed that it "may no longer be right to presume that a substantial gift made by a woman to her fiancé has been procured by undue influence". Common experience today of the wide variety of circumstances in which two people can become engaged to marry negates any conclusion that a relationship of fiancé and fiancée should give rise to a presumption that either person substantially subordinates his or her free will to the other.

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Unconscionable conduct

[37] There was no controversy on this appeal concerning the principles of unconscionable conduct in equity. Those principles were recently restated by this Court in *Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392; [2013] HCA 25.

[103] [38] A conclusion of unconscionable conduct requires the innocent party to be subject to a special disadvantage "which seriously affects the ability of the innocent party to make a judgment as to [the innocent party's] own best interests" (*Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 462 per Mason J). The other party must also unconscientiously take advantage of that special disadvantage (*Cory v Cory* (1747) 1 Ves Sen 19 [27 ER 864]; *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 462; *Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392 at 398 [6]). This has been variously described as requiring "victimisation" (*Hart v O'Connor* [1985] AC 1000 at 1028; *Louth v Diprose* (1992) 175 CLR 621 at 638; *Bridgewater v Leahy* (1998) 194 CLR 457 at 479 [76]; [1998] HCA 66; *Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392 at 401 [18], 402 [22], 403 [26], 439-440 [161]), "unconscientious conduct" (*Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 461 per Mason J, 474 per Deane J; *Australian Competition and Consumer Commission v C G Berbatis Holdings Pty Ltd* (2003) 214 CLR 51 at 64 [15]; [2003] HCA 18), or "exploitation" (*Louth v Diprose* (1992) 175 CLR 621 at 626; *Australian Competition and Consumer Commission v C G Berbatis Holdings Pty Ltd* (2003) 214 CLR 51 at 63 [9], 64 [14]; *Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392 at 439-440 [161]). Before there can be a finding of unconscientious taking of advantage, it is also generally necessary that the other party knew or ought to have known of the existence and effect of the special disadvantage (*Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 462 per Mason J).

[39] In *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 (at 474), Deane J said that the equitable principles concerning relief against unconscionable conduct are closely related to those concerned with undue influence. The same circumstances can result in the conclusion that the person seeking relief (i) has been subject to undue influence, and (ii) is in a position of special disadvantage for the purposes of the doctrine concerned with unconscionable conduct. For instance, in *Diprose v Louth (No 1)* (1990) 54 SASR 438 (at 448-449), the trial judge, King CJ, observed that both doctrines were satisfied where the defendant "was in a position of emotional dominance which gave her an influence over the [plaintiff] which she exercised unconscientiously to procure the gift of the house". Before the High Court in that case, Mr Diprose relied only upon the ground of unconscionable conduct.

[40] Although undue influence and unconscionable conduct will overlap, they have distinct spheres of operation. One difference is that although one way in which the element of special disadvantage for a finding of [104] unconscionable conduct can be established is by a finding of undue influence, there are many other circumstances that can amount to a special disadvantage which would not establish undue influence. A further difference between the doctrines is that although undue influence cases will often arise from the assertion of pressure by the other party which might amount to victimisation or exploitation, this is not always required. In *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 (at 461), Mason J emphasised the difference between unconscionable conduct and undue influence as follows:

> In the latter the will of the innocent party is not independent and voluntary because it is overborne. In the former the will of the innocent party, even if independent and voluntary, is the result of the disadvantageous position in which he is placed and of the other party unconscientiously taking advantage of that position.

The proper appellate approach to findings concerning vitiating factors

[41] In any case where a transaction is sought to be impugned by the operation of vitiating factors such as duress, undue influence, or unconscionable conduct, it is necessary for a trial judge to conduct a "close consideration of the facts … in order to determine whether a claim to relief has been established" (*Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392 at 400 [14]). On appeal, it is also

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essential for the appellate court to scrutinise the trial judge's findings and assess any challenge to the trial judge's conclusions in light of the advantages enjoyed by that judge.

[42] In *Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392 (at 434-435 [144]), quoting with approval from the judgment of Dawson, Gaudron and McHugh JJ in *Louth v Diprose* (1992) 175 CLR 621 (at 639-641), this Court described how the "proof of the interplay of a dominant and subordinate position in a personal relationship depends, 'in large part, on inferences drawn from other facts and on an assessment of the character of each of the parties' ". As Rich J said, in the context of a claim to set aside a transaction, the advantage of the trial judge "of seeing the parties and estimating their characters and capacities is immeasurable" (*Wilton v Farnworth* (1948) 76 CLR 646 at 654, Dixon J agreeing; [1948] HCA 20). These matters led Toohey J, in *Louth v Diprose* (1992) 175 CLR 621 (at 649-650), to say that the "formidable obstacles" involved in an attack on findings of fact by a trial judge "may be enhanced where issues of undue influence and unconscionability are involved".

[105] [43] Related to the fact finding advantage of the trial judge is the evaluative nature of the judgment involved in determining whether the vitiating factors have been established. For example, in undue influence there will be questions of evaluative judgment involved in assessing whether the extent to which a person's will has been subordinated to another's is sufficient to characterise the person as lacking free will. The same evaluative exercise was described by this Court in *Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392 (at 426 [122]. See also at 401 [18]) in relation to unconscionable conduct, quoting from Dixon CJ, McTiernan and Kitto JJ in a passage from *Jenyns v Public Curator (Q)* (1953) 90 CLR 113 at 118-119; [1953] HCA 2 which emphasised how the application of these equitable principles:

> calls for a precise examination of the particular facts, a scrutiny of the exact relations established between the parties and a consideration of the mental capacities, processes and idiosyncrasies of the [other party]. Such cases do not depend upon legal categories susceptible of clear definition and giving rise to definite issues of fact readily formulated which, when found, automatically determine the validity of the disposition. Indeed no better illustration could be found of Lord *Stowell's* generalisation concerning the administration of equity: 'A court of law works its way to short issues, and confines its views to them. A court of equity takes a more comprehensive view, and looks to every connected circumstance that ought to influence its determination upon the real justice of the case'.

The primary judge's decision

[44] The primary judge posed the hypothetical question of why Ms Thorne would sign an agreement when she understood the advice of her solicitor to be that the agreement was the worst that the solicitor had ever seen (*Thorne & Kennedy* [2015] FCCA 484 at [85]). The primary judge also asked why, despite the advice of her solicitor, Ms Thorne failed to conceive of the notion that Mr Kennedy might end the marriage. The primary judge found that the answer to these questions did not lie in Ms Thorne's lack of proficiency in English. Instead, the primary judge attributed Ms Thorne's beliefs and actions to matters of duress or undue influence.

[45] The primary judge described duress as "a form of unconscionable conduct" (*Thorne & Kennedy* [2015] FCCA 484 at [68]). This description was not subsuming the vitiating factor of duress within the doctrine of unconscionable transactions, which would require a finding of special disadvantage and an unconscientious [106] taking advantage of that special disadvantage. Her Honour was using "unconscionable" in the sense described by Gaudron, McHugh, Gummow and Hayne JJ in *Garcia v National Australia Bank Ltd* (1998) 194 CLR 395 (at 409 [34]) as "to characterise the result rather than to identify the reasoning that leads to the application of that description".

[46] The critical findings of the primary judge concerning duress and undue influence were based primarily upon Ms Thorne's evidence. Although the primary judge described Mr Kennedy's evidence as having "many difficulties" (*Thorne & Kennedy* [2015] FCCA 484 at [23]), she had no such concerns about Ms Thorne's evidence. The primary judge concluded that Ms Thorne was powerless to make any decision other than to sign the first agreement. The primary judge referred to an inequality of

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bargaining power and a lack of any outcome for Ms Thorne that was "fair or reasonable" (*Thorne & Kennedy* [2015] FCCA 484 at [94]). However, her Honour also explained that Ms Thorne's situation was "much more than inequality of financial position" (*Thorne & Kennedy* [2015] FCCA 484 at [93]).

[47] The primary judge set out six matters which, in combination, led her to the conclusion that Ms Thorne had "no choice" (*Thorne & Kennedy* [2015] FCCA 484 at [97]) or was powerless (*Thorne & Kennedy* [2015] FCCA 484 at [93]): (i) her lack of financial equality with Mr Kennedy; (ii) her lack of permanent status in Australia at the time; (iii) her reliance on Mr Kennedy for all things; (iv) her emotional connectedness to their relationship and the prospect of motherhood; (v) her emotional preparation for marriage; and (vi) the "publicness" (*Thorne & Kennedy* [2015] FCCA 484 at [93]) of her upcoming marriage. These six matters were the basis for the vivid description by the primary judge of Ms Thorne's circumstances (*Thorne & Kennedy* [2015] FCCA 484 at [91]-[92]):

> She was in Australia only in furtherance of their relationship. She had left behind her life and minimal possessions … She brought no assets of substance to the relationship. If the relationship ended, she would have nothing. No job, no visa, no home, no place, no community. The consequences of the relationship being at an end would have significant and serious consequences to Ms Thorne. She would not be entitled to remain in Australia and she had nothing to return to anywhere else in the world.
>
> [107] Every bargaining chip and every power was in Mr Kennedy's hands. Either the document, as it was, was signed, or the relationship was at an end. The husband made that clear.

[48] As to the second agreement, the primary judge held that it was "simply a continuation of the first – the marriage would be at an end before it was begun if it wasn't signed" (*Thorne & Kennedy* [2015] FCCA 484 at [96]). In effect, her Honour's conclusion was that the same matters which vitiated the first agreement, with the exception of the time pressure caused by the impending wedding (*Thorne & Kennedy* [2015] FCCA 484 at [95]), also vitiated the second agreement.

The Full Court's decision

[49] The approach taken by the parties on appeal was to raise so many grounds of appeal that the essential point of the appeal – whether a vitiating factor had been established – was concealed. The Full Court was confronted with 13 grounds of appeal and a notice of contention with eight grounds. As the Full Court held, many of those grounds went nowhere or had no merit. For instance, Mr Kennedy's executors and trustees challenged many of the findings of fact by the primary judge despite there being a solid foundation for all of those findings. With one exception, discussed below, each of those challenges properly failed.

[50] However, the Full Court upheld the grounds of appeal in two respects. First, the Full Court held that the primary judge's reasons were inadequate because in the list of six matters relied upon by the primary judge, it was not possible to determine which of the factors were fundamental, and which were subsidiary, to the decision concerning either the first or the second agreement. The Full Court considered that the lack of financial equality might have been determinative, although "a finding of financial inequality could never provide a reasoned basis for duress" (*Kennedy & Thorne* (2016) FLC ¶93-737 at 81,807 [62]).

[51] Secondly, relying upon the decision of the New South Wales Court of Appeal in *Australia & New Zealand Banking Group v Karam* (2005) 64 NSWLR 149 (at 168 [66]), the Full Court held that the primary judge had erred in the test for duress which she had applied (*Kennedy & Thorne* (2016) FLC ¶93-737 at 81,809 [71]). The Full Court held that duress required threatened or actual unlawful conduct but that the primary judge had not concluded that the pressure was "illegitimate" or "unlawful" (*Kennedy & Thorne* (2016) FLC ¶93-737 at 81,809 [71]). The Full Court also overturned the finding by the primary judge, which had been a factor in her assessment that the [108] agreements were vitiated, that there was no outcome available to Ms Thorne that was fair or reasonable. In effect, the Full Court considered the agreements to be fair and reasonable because (i) Mr Kennedy had told Ms Thorne at the outset of their relationship, and she had accepted, that his wealth was intended for

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his children, and (ii) Ms Thorne's interest, which was provided for in the agreements, concerned only the provision that would be made for her in the event Mr Kennedy predeceased her.

[52] The Full Court also dismissed a notice of contention by Ms Thorne which, amongst other matters, sought to uphold the primary judge's conclusions on the basis that the agreements were vitiated by either undue influence or unconscionable conduct.

[53] The Full Court held that Ms Thorne could not have been subject to undue influence because she acquiesced in Mr Kennedy's desire to protect his assets for his children and because she had no concern about what she would receive on separation (*Kennedy & Thorne* (2016) FLC ¶93-737 at 81,817 [132]-[134]). The Full Court held that Mr Kennedy's conduct was not unconscionable because he did not take advantage of Ms Thorne. The Full Court referred to: (i) its findings of the lack of any misrepresentation by Mr Kennedy about his financial position; (ii) Mr Kennedy's early statements to Ms Thorne that made clear that she would not receive any part of his wealth on separation; (iii) Ms Thorne's staunch belief that Mr Kennedy would never leave her and her lack of concern about her financial position while Mr Kennedy was alive; and (iv) Mr Kennedy's acceptance of handwritten amendments to the agreements that were made by Ms Thorne's solicitor (*Kennedy & Thorne* (2016) FLC ¶93-737 at 81,815-81,816 [111]-[122], 81,817-81,818 [138]-[139]).

The agreements were vitiated by undue influence

[54] Any assessment of whether the agreements were vitiated by undue influence must begin by consideration of the findings of the primary judge, with due regard for the advantages enjoyed by the primary judge and the evaluative exercise involved in the primary judge's consideration.

[55] With one exception, none of the findings of fact by the primary judge was overturned by the Full Court. That exception was the Full Court's rejection of the primary judge's finding that there was no outcome available to Ms Thorne that was fair or reasonable. The Full Court erred in rejecting this finding. It was open to the primary judge to conclude that Mr Kennedy, as Ms Thorne knew, was not prepared to amend the agreement other than in minor respects. Further, the [109] description of the agreements by the primary judge as not being "fair or reasonable" was not merely open to her. It was an understatement. Ms Harrison's unchallenged evidence was that the terms of the agreements were "entirely inappropriate" and wholly inadequate "[i]n relation to everything". She said that the agreements did not show any consideration for Ms Thorne's interests. Even without Ms Harrison's evidence, it is plain that some of the provisions of the agreements could not have operated more adversely to Ms Thorne. For instance, the agreements purported to have the effect that if Ms Thorne and Mr Kennedy separated within three years then Ms Thorne was not entitled to anything at all.

[56] The primary judge was correct to consider the unfair and unreasonable terms of the pre-nuptial agreement and the post-nuptial agreement as matters relevant to her consideration of whether the agreements were vitiated. Of course, the nature of agreements of this type means that their terms will usually be more favourable, and sometimes much more favourable, for one party. However, despite the usual financial imbalance in agreements of that nature, it can be an indicium of undue influence if a pre-nuptial or post-nuptial agreement is signed despite being known to be grossly unreasonable even for agreements of this nature. In other words, what the Full Court rightly recognised as the significant gap between Ms Thorne's understanding of Ms Harrison's strong advice not to sign the "entirely inappropriate" agreement and Ms Thorne's actions in signing the agreement was capable of being a circumstance relevant to whether an inference should be drawn of undue influence.

[57] The Full Court also mischaracterised the effect of the primary judge's reasons. As explained above, the primary judge found that Ms Thorne was "powerless" and that Ms Thorne believed that she had "no choice" to do anything other than sign the agreements as presented. The primary judge's finding was, in effect, that Ms Thorne was deprived of the ability to bring a free choice to the decision as to whether to sign the agreements. Ms Thorne's choices about entering the agreements

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on Mr Kennedy's terms were subordinated to the will of Mr Kennedy. Despite the strong advice from Ms Harrison, Ms Thorne accepted the terms of the agreements in part due to her "reliance on Mr Kennedy for all things". Although the primary judge described her conclusion as one of "duress", for the reasons explained above her conclusion is more aptly described as one of undue influence. It was, therefore, unnecessary for the primary judge to assess the extent to which the pressure upon Ms Thorne came from Mr Kennedy as might be required for the doctrine of duress. It was also unnecessary for the primary judge to consider whether, for the purposes of the doctrine of duress, the pressure that Mr Kennedy [110] exerted upon Ms Thorne was improper or illegitimate. These are matters within the domain of duress rather than undue influence. Contrary to the reasoning of the Full Court, the failure of the primary judge to reach these conclusions was not an error.

[58] Mr Kennedy's executors also relied upon the Full Court's reasoning that the primary judge had based her conclusion only upon an inequality of bargaining power. That submission cannot be accepted. Contrary to the reasoning of the Full Court, the primary judge carefully set out the six factors which, together with the lack of a fair or reasonable outcome, led her to the conclusion that Ms Thorne had no choice but to enter the agreements (*Thorne & Kennedy* [2015] FCCA 484 at [97]).

[59] The primary judge's conclusions were open to her on the evidence. Each of the factors which the primary judge considered was a relevant circumstance in the overall evaluation of whether Ms Thorne had been the subject of undue influence in her entry into the agreements. In combination, it was open to the primary judge to conclude that Ms Thorne considered that she had no choice or was powerless other than to enter the agreements. In other words, the extent to which she was unable to make "clear, calm or rational decisions" (*NA v MA* [2007] 1 FLR 1760 at 1785 [114] per Baron J) was so significant that she could not aptly be described as a free agent. In the *Restatement of the Law Third, Restitution and Unjust Enrichment* (American Law Institute, *Restatement of the Law Third, Restitution and Unjust Enrichment*, (2011), §15, comment c), the Reporter said that:

> Circumstances universally relevant to the proof of undue influence include the relation of the parties; the nature and terms of the transfer in question; the susceptibility of the transferor to the influence of the other; the opportunity of the other to exert undue influence; and the extent to which the transferor acted on the basis of independent advice.

[60] In the particular context of pre-nuptial and post-nuptial agreements, some of the factors which may have prominence include the following: (i) whether the agreement was offered on a basis that it was not subject to negotiation; (ii) the emotional circumstances in which the agreement was entered including any explicit or implicit threat to end a marriage or to end an engagement (Thompson, *Prenuptial Agreements and the Presumption of Free Choice: Issues of Power in Theory and Practice*, (2015) at 115); (iii) whether there was any time for careful reflection; (iv) the nature of the parties' relationship; (v) the [111] relative financial positions of the parties; and (vi) the independent advice that was received and whether there was time to reflect on that advice.

The primary judge's reasons were not inadequate

[61] As French CJ and Kiefel J said in *Wainohu v New South Wales* (2011) 243 CLR 181 at 213 [54]; [2011] HCA 24, "[t]he centrality, to the judicial function, of a public explanation of reasons for final decisions and important interlocutory rulings has long been recognised". The content of that judicial duty to give adequate reasons will depend upon the circumstances of the matter being considered. Importantly, it is not necessarily the case that reasons be lengthy or elaborate in order to be adequate (*Beale v Government Insurance Office of NSW* (1997) 48 NSWLR 430 at 443 per Meagher JA).

[62] The reasons given by the primary judge for her conclusion of undue influence were not inadequate. Those reasons assessed, evaluated, and characterised all of the circumstances before reaching the conclusion that Ms Thorne was powerless and believed that she had no choice to do anything other than sign the agreements. Contrary to the reasoning of the Full Court, an assessment

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of whether undue influence arises in the circumstances does not require, and may not even permit, a trial judge to assign some weight to each of the factors upon which the trial judge relies. Nor is a trial judge necessarily required to identify which factors are fundamental and which are subsidiary. An assessment of the will-power of a person is not an exercise of mathematical precision. Further, as was the case here, the factors which lead to a conclusion of undue influence might not be independent of each other. That was likely to be the case in relation to the six matters relied upon by the primary judge. For instance, Ms Thorne's "lack of financial equality" with Mr Kennedy and her "lack of permanent status in Australia" would likely have contributed to her "reliance on Mr Kennedy for all things" and may have affected her "emotional connectedness to their relationship and the prospect of motherhood" or "her emotional preparation for marriage".

The agreements were also vitiated by unconscionable conduct

[63] This appeal should be allowed on the basis that the Full Court erred in concluding that the primary judge's reasons were not adequate and erred in overturning the primary judge's conclusion that, in effect, Ms Thorne was subject to undue influence. As we have explained, it is not necessary to consider the operation of the vitiating factor of duress. This is particularly so in the absence of any detailed argument about the operation of a criterion for duress that the conduct of the dominant [112] party is improper or illegitimate, and the absence of any findings by the primary judge or the Full Court on these matters. In contrast, the issues concerning unconscionable conduct were fully argued. For the reasons which follow, the Full Court also erred in its conclusion that Ms Thorne's entry into the agreements was not procured by unconscionable conduct.

[64] The Full Court recognised that Ms Thorne was labouring under a disadvantage (*Kennedy & Thorne* (2016) FLC ¶93-737 at 81,817 [138]), although the Court did not add the adjective "special", which, as Mason J in *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 (at 462) explained, is used to emphasise that the disadvantage is not a mere difference in the bargaining power but requires an inability for a person to make a judgment as to his or her own best interests. The findings by the primary judge that Ms Thorne was subject to undue influence – powerless, with what she saw as no choice but to enter the agreements – point inevitably to the conclusion that she was subject to a special disadvantage in her entry into the agreements.

[65] Ms Thorne's special disadvantage was known to Mr Kennedy. Her special disadvantage had been, in part, created by him. He created the urgency with which the pre-nuptial agreement was required to be signed and the haste surrounding the post-nuptial agreement and the advice upon it. While Ms Thorne knew Mr Kennedy required her acknowledgement that his death would not result in her receiving a windfall inheritance at the expense of his children, she had no reason to anticipate an intention on his part to insist upon terms of marriage that were as unreasonable as those contained in the agreements. Further, Ms Thorne and her family members had been brought to Australia for the wedding by Mr Kennedy and his ultimatum was not accompanied by any offer to assist them to return home. These matters increased the pressure which contributed to the substantial subordination of Ms Thorne's free will in relation to the agreements. Mr Kennedy took advantage of Ms Thorne's vulnerability to obtain agreements which, on Ms Harrison's uncontested assessment, were entirely inappropriate and wholly inadequate. Even within that class of agreement, the agreements which Ms Thorne signed involved "gross inequality" (*Gartside v Isherwood* (1778) 1 Bro CC 558 at 560-561 per Lord Thurlow LC [28 ER 1297 at 1298]).

Conclusion

[66] For these reasons, the appeal should be allowed. In the Full Court there was also a ground of appeal that the primary judge had failed to afford procedural fairness to Mr Kennedy's executors before making [113] orders for costs against his estate (*Kennedy & Thorne* (2016) FLC ¶93-737 at 81,811 [85]). That ground was conceded by Ms Thorne, although she argued that costs would follow in any event if the agreements were rescinded. Since Mr Kennedy's executors were successful in the Full Court, the costs orders of the primary judge were set aside. In this Court, Mr Kennedy's executors

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did not submit that the primary judge's costs orders should be disturbed if the appeal were allowed and the orders of the Full Court set aside.

[NETTLE J agreed with the orders proposed by the plurality. GORDON JJ held that the agreements had been procured by unconscionable conduct but not undue influence.]

(1) Appeal allowed.

(2) Set aside the orders of the Full Court of the Family Court of Australia made on 26 September 2016 and, in their place, order that the appeal to that Court be dismissed with costs.

(3) The respondent pay the appellant's costs of the appeal to this Court.

CHAPTER **36**

Unconscionable dealing

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[36.10] *Blomley v Ryan* 1067
[36.20] *Commercial Bank of Australia v Amadio* 1071
[36.35] *Louth v Diprose* 1080

BACKGROUND

[36.05] The equitable doctrine of unconscionable dealing "looks to the conduct of [the *defendant*] in attempting to enforce, or retain the benefit of, a dealing with a person under a special disability [the *plaintiff*] in circumstances where it is not consistent with equity or good conscience that he should do so": *Commercial Bank of Australia Ltd v Amadio* [1983] HCA 14; (1983) 151 CLR 447, 474 (Deane J). Unconscionable dealing protects against the "exploitation by one party of another's position of special disadvantage": *Commercial Bank of Australia Ltd v Amadio* [1983] HCA 14; (1983) 151 CLR 447, 489 (Dawson J); *Blomley v Ryan* (1956) 99 CLR 362, 415 (Kitto J). On unconscionable dealing, see also *Thorne v Kennedy* [2017] HCA 49; (2017) 263 CLR 85, at [35.20] and *Australian Securities and Investments Commission v Kobelt* [2019] HCA 18 at [38.50].

The courts originally developed the doctrine to protect "expectant heirs" (ie, persons who expected to succeed to property on the death of another). The courts then also gave relief against contracts characterised by exorbitant terms entered into by impecunious, sick, weak-minded or inexperienced persons who lacked the advantage of independent advice.

In *Fry v Lane* (1888) 40 Ch D 312, 322, Kay J said:

> The result of the decisions is that where a purchase is made from a poor and ignorant man at a considerable undervalue, the vendor having no independent advice, a court of equity will set aside the transaction … The circumstances of poverty and ignorance of the vendor, and absence of independent advice, throw upon the purchaser, when the transaction is impeached, the onus of proving, in Lord Selborne's words, that the purchase was "fair, just, and reasonable".

The main remedy available in cases of unconscionable dealing is *rescission*. This form of relief, and the bars to it, are considered in more detail in Chapter 39.

SCOPE OF THE DOCTRINE

Blomley v Ryan

[36.10] *Blomley v Ryan* (1956) 99 CLR 362 (High Court of Australia) – Appeal from Taylor J.

[FACTS: The *plaintiff*, Blomley, a resident of Queensland, brought an action in the original jurisdiction of the High Court seeking specific performance or, alternatively, damages, in respect of a written contract made on 21 April 1953 in which the *defendant/respondent*, Ryan, a resident of New South Wales, agreed to sell to the plaintiff a grazing property for £25,000. The defendant at the time of making the contract was aged 78 years. He alleged that at the time of signing the contract and the

Blomley v Ryan cont.

time of the negotiations preceding it he was, to the knowledge of the plaintiff, "an old man, lacking in education, suffering from the effects of intoxication, mentally and physically weak, without proper advice, unable to protect himself and on unequal terms with the plaintiff", and that the plaintiff had acted with undue haste and procured the agreement at a great undervalue and upon terms highly favourable to the plaintiff. The defendant's defences were that the agreement was voidable because he had lacked the requisite contractual capacity, and alternatively that the court in its discretion should not decree specific performance. The defendant also counterclaimed to have the contract set aside.

Taylor J who heard the action found:

1. that over a number of years the defendant had engaged in heavy drinking bouts and that the contract was signed during the period over which one of these drinking bouts extended;
2. that on 20 April, when the contract was negotiated, the defendant's condition was such that he was incapable of considering the question of the sale with any real degree of intelligent appreciation of the matters involved and that this must have been reasonably apparent to those who acted on behalf of the plaintiff. Indeed a colleague of the defendant brought a bottle of rum to the negotiations to share with the already inebriated defendant;
3. that at the time of his signing the contract on 21 April the defendant was capable of understanding the general purport of the instrument, but his participation in the transaction was not accompanied by any reasonably intelligent consent to it;
4. that the defendant's failing mental equipment left him at a distinct disadvantage in negotiating; and
5. that the sale was at an undervalue of some £8,000 or £9,000.

Taylor J dismissed the plaintiff's claim and decreed rescission of the contract upon the counterclaim. The plaintiff appealed to the Full Court.]

FULLAGAR J [stated the nature of the proceedings and continued]: [401] The case is not one of that comparatively rare class where a man's faculties, whether from age or natural infirmity or drink or any other cause, are so defective that he does not really know what he is doing – that his mind does not go with his deed. In such a case his instrument is void even at law – non est factum. Nor is it a case like *Gore v Gibson* (1845) 13 M & W 623; 153 ER 260, as to which see *Gibbons v Wright* (1954) 91 CLR 423 at 441–3. It is a case, I think, in which relief could be obtained by the defendant, if at all, only in equity. And, when we look for the principle on which equity did grant relief in such cases, we find as so often in equity, only very wide general expressions to guide us. There was, I think, a typical difference in approach between equity and the common law. To the common law the transaction in question might be void or voidable, but the primary question was as to the reality of the assent of the persons resisting enforcement of the contract. Equity traditionally looked at the matter rather from the point of view of the party seeking to enforce the contract [402] and was minded to inquire whether, having regard to all the circumstances, it was consistent with equity and good conscience that he should be allowed to enforce it.

[His Honour then examined a number of cases.]

[404] The real effect of the cases on the subject was, I think, stated by Sir William Grant MR in *Cooke v Clayworth* (1811) 18 Ves Jun 12; 34 ER 222, in a passage which has been quoted in several later cases. The Master of the Rolls said:

> I think, a court of equity ought not to give its assistance to a person, who has obtained an agreement, or deed, from another in a state of intoxication; and on the other hand ought not to assist a person to get rid of any agreement, or deed, merely upon the ground of his having been intoxicated at the time: *Dunnage v White* (1818) 1 Swans 137; 36 ER 329. I say merely upon that ground; as, if there was, as Lord Hardwicke expresses it in *Cory v Cory* (1747) 1 Ves Sen 19; 27 ER 864, any unfair advantage made of his situation, or as Sir Joseph Jekyll says in *Johnson v Dedlicott*

Blomley v Ryan cont.

> (1731) 3 P Wms 131; 24 ER 998, any contrivance or management to draw him into drink, he might be a proper object of relief in a court of equity. As to that extreme state of intoxication, that deprives a man of his reason, I apprehend, that even at law it would invalidate a deed, obtained from him while in that condition: (1811) 18 Ves Jun 15, 16; 34 ER 223.

This statement of equitable principle was referred to and acted upon in *Nagle v Baylor* (1842) 3 Dr & W 60 (where gross inadequacy of consideration was alleged but not proved), in the case … of *Shaw v Thackery* (1853) 17 Jur 1045; 65 ER 235 and in *Wiltshire v Marshall* (1866) 14 LT (NS) 396. In the first of these cases specific performance was decreed. In the second a bill to set aside was dismissed. The third is the only reported case I have succeeded in finding in which a transaction has actually been set aside by a court of equity on the ground that one party was intoxicated but not so far intoxicated as to make his deed void even at law. Sir William Page Wood VC put the principle on which he acted in this way. He said:

> And now, having shortly considered what is the state of the law upon this subject, the first thing I have to do is … to determine … whether it was so entered into as to display absence of judgment in the person making it, and a degree of unfairness in the person accepting it: (1866) 14 LT (NS) 397.

The authorities which I have cited show, I think, that, when a court of equity is asked to refuse specific performance of, or to set aside, a contract at the instance of a party who says that he was drunk at the time of making it, the principles applied do not differ in substance from those applied in such cases as *Clark v Malpas* (1862) 31 Beav 80; 54 ER 1067; 4 De GF & J 401; 45 ER 1238; [405] *Fry v Lane* (1888) 40 Ch D 312; and the other cases cited by Taylor J. But they show also that cases in which an allegation of intoxication is a main feature are approached with great caution by courts of equity. That is, I think, not so much because intoxication is a self-induced state and a reprehensible thing, but rather because it would be dangerous to lend any countenance to the view that a man could escape the obligation of a contract by simply proving that he was "in liquor" when it was made. So we find it said again and again that *mere* drunkenness affords no ground for resisting a suit to enforce a contract. Where, however, there is real ground for thinking that the judgment of one party was, to the knowledge of the other, seriously affected by drink, equity will generally refuse specific performance at the suit of that other, leaving him to pursue a remedy at law if he so desires. And, where the court is satisfied that a contract disadvantageous to the party affected has been obtained by "drawing him in to drink", or that there has been real unfairness in taking advantage of his condition, the contract may be set aside.

One other general observation may be made before proceeding to the facts of the present case. The circumstances adversely affecting a party, which may induce a court of equity either to refuse its aid or to set a transaction aside, are of great variety and can hardly be satisfactorily classified. Among them are poverty or need of any kind, sickness, age, sex, infirmity of body or mind, drunkenness, illiteracy or lack of education, lack of assistance or explanation where assistance or explanation is necessary. The common characteristic seems to be that they have the effect of placing one party at a serious disadvantage vis-á-vis the other. It does not appear to be essential in all cases that the party at a disadvantage should suffer loss or detriment by the bargain. In *Cooke v Clayworth* (1811) 18 Ves Jun 12; 34 ER 222, in which specific performance was refused, it does not appear that there was anything actually unfair in the terms of the transaction itself. But inadequacy of consideration, while never of itself a ground for resisting enforcement, will often be a specially important element in cases of this type. It may be important in either or both of two ways; firstly, as supporting the inference that a position of disadvantage existed, and secondly, as tending to show that an unfair use was made of the occasion. While, as here, intoxication is the main element relied upon as creating the position of disadvantage, the question of adequacy or inadequacy of consideration is, I think, likely to be a matter of major, and perhaps decisive, importance. It will almost always, [406] I think, be "an important ingredient in considering whether a person did exercise any degree of judgment in making a contract, or whether there is a degree of unfairness in accepting the contract": *Wiltshire v Marshall* (1866) 14 LT 396 at 397 per Page Wood VC.

Blomley v Ryan cont.

In the present case it is impossible to doubt that the defendant sold his station property, "Worrah", at a gross undervalue …

But the wide discrepancy between price and value is not the only interesting feature of this transaction. There are two others. In the first place, the deposit on a contract of sale for £25 000 was £5. In the second place, the sale was on terms, which provided for payment of the price over a period of more than four years, and the rate of interest on unpaid purchase money was 4 per cent. The bank rate of interest current at the time was 5 per cent. It may be said that the deposit was a matter of small practical importance, but the only thing that can save it from being justly [407] described as ridiculous is the fact that a purchaser at so very low a price would be likely to move heaven and earth rather than default. It is obviously an additional abnormal element in the transaction itself, as is also, of course, the low rate of interest payable under the contract. The rate of interest was an important matter, because the defendant was proposing to "retire", and presumably to live on the interest of his capital.

The learned trial judge found the explanation of this remarkable transaction in the facts that the defendant was an old man, whose health and faculties had been impaired by habitual drinking to excess over a long period, who was at the material time in the middle of a prolonged bout of heavy drinking of rum, and who was utterly incapable of forming a rational judgment about the terms of any business transaction. Having carefully read and considered the evidence, I agree with this view. His Honour also held that the defendant's condition must have been patent to the plaintiff's father, who acted as the plaintiff's agent, and to Stemm, who acted (ostensibly) as the defendant's agent, and that these persons took such an unfair advantage of that condition that a court of equity could not allow the contract to stand. I agreed with this view also …

The plaintiff himself, who is a young man, took little or no part in the proceedings at any stage: the negotiations were conducted by his father. Stemm, an employer of Dalgety … Co Ltd, acted as "agent" for the sale of the property. Ostensibly he was acting in that capacity for the defendant, to whom his firm would look for their commission. But it is obvious that he was, so to speak, "in the plaintiff's camp" throughout; his concern was simply to procure a sale, and nothing seems to have been further from his mind than the idea that it was his duty to obtain the best price he could for the defendant, and generally to look after the defendant's interests …

[409] His Honour expressed his general finding by saying that the defendant's condition was such that: "he was incapable of considering the question of the sale of his property with any real degree of intelligent appreciation of the matters involved": (1955) 99 CLR at p 370.

More specifically, he said that he had:

> no doubt that the defendant's drinking bout on this occasion extended from some little time before Saturday, 18 April until at least towards the end of the following week and that there were many occasions during this period when he was quite incapable … of transacting the simplest forms of business: (1955) 99 CLR at p 368.

I take his Honour to have thought that on these "occasions" any instrument signed by the defendant must have been held to be void even at law, and that throughout the period he was incapable of making an intelligent decision or forming a rationally considered judgment on a matter of business. During the night of the 20th or 21st he became again, as his Honour found, "grossly intoxicated" ((1955) 99 CLR at p 372) and early on the 21st he was "barely sensible of what was going on around him" (at p 373), though his condition "may have improved a little" (at p 373) during the drive (about 40 miles) to Goondiwindi …

[411] [I]t is important to bear in mind exactly what was the view of Taylor J with regard to the state of the defendant's mind [at the time of signing the contract]. It is not to be supposed that he was in that condition of helplessness and semi-imbecility into which he appears to have drunk himself at times during the period of his "bout". The general nature of the transaction was not beyond his comprehension on 21 April.

Blomley v Ryan cont.

> But [said his Honour] whilst I feel that this is the proper conclusion upon the evidence, I am satisfied that at no time was his participation in the transaction accompanied by any reasonably intelligent consent to it (at p 374) …

It was argued that the defendant had by conduct affirmed the contract after regaining a normal state of mind. It has been said that, in cases of this type, equity will not relieve unless there has been a prompt repudiation after a cessation of any vitiating circumstances. The defendant did not repudiate the contract until 22 July. In the meantime he had bought another property, in which he proposed to reside, and he had allowed certain stock to be placed on "Worrah" by the plaintiff or his father. But [the solicitor] had not supplied him with a copy of the contract, and I do not think, on the evidence, that he had any real understanding of the position until early in July, when he obtained a copy of the document, and, after a conversation with the witness Barden, consulted a firm of solicitors at Moree. After obtaining their advice he acted promptly enough. His drinking bout continued for some days after 21 April and Taylor J thought that at its conclusion he had, at the [412] best, only a hazy recollection of what had actually happened. When (to use his own expressive phrase) the "booze got out of his system" he seems to have begun to think seriously about the position, but there is nothing to suggest that he was aware that the transaction might be successfully challenged, or even alive to what he had really done in April. In all the circumstances it would be wrong, in my opinion, to hold that there was any affirmation of the contract or any failure to repudiate in due time a transaction which, even when he became sober, he did not fully understand and appreciate until the document was in his hands.

I felt pressed at first by the argument based on the evidence of [the solicitor]. But after full consideration of the whole case, I am satisfied that we have here an example of a thoroughly unconscionable transaction, which no court of equity could possibly enforce itself, or allow to be enforced at law. I would regard specific performance as out of the question, and to let the contract be enforced at law would, in this particular case, be, in effect, to allow the overreaching party to reap the full reward of his inequitable conduct. The appeal should, in my opinion, be dismissed.

[KITTO J dissented on the ground that the evidence did not provide a sufficient foundation for the findings on which the relief had been granted.]

Appeal dismissed with costs

Commercial Bank of Australia v Amadio

[36.20] *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 (High Court of Australia) – Appeal from the Supreme Court of South Australia, Full Court.

[FACTS: In March 1977, Mr and Mrs Amadio (the *respondents*) were aged 76 and 71 respectively. They had both been born in Italy but had lived in Australia for over 40 years. Neither had received much formal education. Mr Amadio had a limited grasp of written English but could speak it reasonably well; Mrs Amadio had some understanding of spoken English but gave evidence through an interpreter. She had no business experience, but her husband, who had retired after many years working as a market gardener, had engaged in a number of land transactions, with most of which he had received the assistance of their son, Vincenzo Amadio. Vincenzo carried on business as a land developer and builder through a number of companies which he controlled, including V Amadio Builders Pty Ltd (*Amadio Builders*). He appeared to be very successful. The annual turnover of these companies amounted to millions of dollars. He lived in an opulent style. In 1976 he held a Christmas party which was attended by over 2,000 people, including his father, Mr Amadio, and Mr Virgo, who was the manager of the branch of the appellant bank (the *bank*) at which Amadio Builders had its account. His parents had every reason to believe that he was a wealthy man. But

Commercial Bank of Australia v Amadio cont.

by October 1976, Amadio Builders had proved unable to keep within its overdraft limit ($80,000). Its application to increase the limit by $45,000 was granted on condition that the advance was to be cleared by 31 December 1976, but when that date arrived, the account was $130,000 in debit. The bank required this to be reduced to $125,000, but by 17 March 1977, the debit exceeded $193,000. Moreover, from about the beginning of 1977, it had been necessary for Amadio Builders to arrange with the bank to selectively dishonour cheques drawn on its account and presented for payment. Vincenzo and Mr Virgo would meet almost daily and would decide which cheques should be paid and which should not. The bank maintained this tolerant attitude towards Amadio Builders because Vincenzo was an important customer who brought business to the bank, but also because the company was engaged in building houses in a joint venture with General Credits Ltd, a subsidiary of the bank. On 18 March 1977, the bank decided to stop further operations on the overdraft account and required Amadio Builders to open a second account which was to be kept in credit. In a few days this second account was also overdrawn. Vincenzo informed the State Manager, Mr Statton, that his parents were prepared to give security over an office building they owned to the bank if it would allow him to continue to operate with an increased overdraft limit. In fact he had not spoken to his parents on the subject. The State Manager informed him that the bank would take a mortgage over the parents' property, and would allow Amadio Builders to operate on the account which had been frozen, with an overdraft limit of $270,000, the limit to be reduced at specified weekly intervals. Vincenzo called on his parents on 25 March 1977, and asked them to give a guarantee for around $50,000 for about six months. In fact the State Manager had not mentioned such limits. Mr Virgo also went to the home of the respondents, later on 25 March, and obtained their signatures to a memorandum of mortgage. By that instrument the respondents agreed to pay to the bank on demand all moneys owing or that thereafter became owing by Amadio Builders to the bank, together with interest, and mortgaged the office property as security for the payment. There was very little discussion before the document was signed. The respondents, who were in the kitchen, did not read the document and Mr Virgo did not explain its effect to them, but when Mr Amadio said that the mortgage was only for six months, Mr Virgo pointed out that there was no such limitation of time.

Thereafter Amadio Builders again operated on the account, but the state of the account continued to deteriorate, and at the beginning of 1978, the company went into liquidation. The bank made demand on the respondents and served notice that it would exercise its power of sale. The respondents issued proceedings attacking the validity of the mortgage. The bank counterclaimed for the amount due under the guarantee contained in the mortgage. The primary judge gave judgment for the bank for $239,830. The Full Court allowed an appeal by Mr and Mrs Amadio. The bank appealed to the High Court.]

MASON J: [461] I agree with Deane J's comprehensive statement of the facts and with his conclusion that the respondents are entitled to relief on the ground that the bank was guilty of unconscionable conduct in procuring the execution of the mortgage guarantee by the respondents.

Historically, courts have exercised jurisdiction to set aside contracts and other dealings on a variety of equitable grounds. They include fraud, misrepresentation, breach of fiduciary duty, undue influence and unconscionable conduct. In one sense they all constitute species of unconscionable conduct on the part of a party who stands to receive a benefit under a transaction which, in the eye of equity, cannot be enforced because to do so would be inconsistent with equity and good conscience. But relief on the ground of "unconscionable conduct" is usually taken to refer to the class of case in which a party makes unconscientious use of his superior position or bargaining power to the detriment of a party who suffers from some special disability or is placed in some special situation of disadvantage, eg, a catching bargain with an expectant heir or an unfair contract made by taking advantage of a person who is seriously affected by intoxicating drink. Although unconscionable conduct in this narrow sense bears some resemblance to the doctrine of undue influence, there is a difference between the two. In the latter the will of the innocent party is not independent and voluntary because it is overborne. In the former the will of the innocent party, even if independent and voluntary, is the

Commercial Bank of Australia v Amadio cont.

result of the disadvantageous position in which he is placed and of the other party unconscientiously taking advantage of that position.

There is no reason for thinking that the two remedies are mutually exclusive in the sense that only one of them is available in a particular situation to the exclusion of the other. Relief on the ground of unconscionable conduct will be granted when unconscientious advantage is taken of an innocent party whose will is overborne so that it is not independent and voluntary, just as it will be granted when such advantage is taken of an innocent party who, though not deprived of an independent and voluntary will, is unable to make a worthwhile judgment as to what is in his best interest.

It goes almost without saying that it is impossible to describe definitively all the situations in which relief will be granted on the ground of unconscionable conduct. As Fullagar J said in *Blomley v Ryan* (1956) 99 CLR 362 at 405:

> [462] The circumstances adversely affecting a party, which may induce a court of equity either to refuse its aid or to set a transaction aside, are of great variety and can hardly be satisfactorily classified. Among them are poverty or need of any kind, sickness, age, sex, infirmity of body or mind, drunkenness, illiteracy or lack of education, lack of assistance or explanation where assistance or explanation is necessary. The common characteristic seems to be that they have the effect of placing one party at a serious disadvantage vis-á-vis the other.

Likewise Kitto J (1956) 99 CLR 362, at 415 spoke of it as "a well-known head of equity" which – … applies whenever one party to a transaction is at a special disadvantage in dealing with the other party because illness, ignorance, inexperience, impaired faculties, financial need or other circumstances affect his ability to conserve his own interests, and the other party unconscientiously takes advantage of the opportunity thus placed in his hands.

It is not to be thought that relief will be granted only in the particular situations mentioned by their Honours. It is made plain enough, especially by Fullagar J, that the situations mentioned are no more than particular exemplifications of an underlying general principle which may be invoked whenever one party by reason of some condition of circumstance is placed at a special disadvantage vis-á-vis another and unfair or unconscientious advantage is then taken of the opportunity thereby created. I qualify the word "disadvantage" by the adjective "special" in order to disavow any suggestion that the principle applies whenever there is some difference in the bargaining power of the parties and in order to emphasize that the disabling condition or circumstance is one which seriously affects the ability of the innocent party to make a judgment as to his own best interests, when the other party knows or ought to know of the existence of that condition or circumstance and of its effect on the innocent party.

Because times have changed new situations have arisen in which it may be appropriate to invoke the underlying principle. Take, for example, entry into a standard form of contract dictated by a party whose bargaining power is greatly superior, a relationship which was discussed by Lord Reid and Lord Diplock in *A Schroeder Music Publishing Co Ltd v Macaulay* [1974] 1 WLR 1308; [1974] 3 All ER 616 at 1314–5, 1316 (WLR), 622–3, 624 (All ER). See also *Clifford Davis Management Ltd v WEA Records Ltd* [1975] 1 WLR 61; [1975] 1 All ER 237 at 64–5 (WLR), 240 (All ER). In situations of [463] this kind it is necessary for the plaintiff who seeks relief to establish unconscionable conduct, namely that unconscientious advantage has been taken of his disabling condition or circumstances.

Of course the relationship between the present parties and the transaction into which they entered were by no means novel, viewed as a situation to which the general principle can apply. That the principle might justify the setting aside of a guarantee is established by decisions such as *Owen and Gutch v Homan* (1853) 14 HL Cas 997 at 1034–5 [10 ER 752, at 767] and *Bank of Victoria Ltd v Mueller* [1925] VLR 642 at 649.

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To say this involves no contradiction of the well-entrenched proposition that a guarantee is not a contract uberrimae fidei, that is, a contract which of itself calls for full disclosure. However, it is accepted that the principal creditor is under a duty –

> … to disclose to the intending surety anything which has taken place between the bank and the principal debtor "which was not naturally to be expected", or as it was put by Pollock MR, in *Lloyds Bank Ltd v Harrison* (1925); Unreported, cited in *Paget's Law of Banking*, 7th ed (1966), p 583 "the necessity for disclosure only goes to the extent of requiring it where there are some unusual features in the particular case relating to the particular account which is to be guaranteed" (*Goodwin v National Bank of Australasia Ltd* (1968) 117 CLR 173 at 175, per Barwick CJ).

It has been said that this duty to disclose does not require a bank to give information as to matters affecting the credit of the debtor or of any circumstances connected with the transaction in which he is about to engage which will render his position more hazardous (*Wythes v Labouchere* (1859) 3 De G & J 593 at 609 [44 ER 1397 at 1404], per Lord Chelmsford LC). No surety is entitled to assume that the debtor has not been overdrawing, the proper presumption being in most instances that he has been doing so and wishes to do so again (*London General Omnibus Co Ltd v Holloway* [1912] 2 KB 72 at 83–4, 87).

But the fact that a bank's duty to make disclosure to its intending surety, arising from the mere relationship between principal creditor and surety, is so limited has no bearing on the availability of equitable relief on the ground of unconscionable conduct. A bank, though not guilty of any breach of its limited duty to make disclosure to the intending surety, may none the less be considered [464] to have engaged in unconscionable conduct in procuring the surety's entry into the contract of guarantee.

It is to be hoped that the respondents' amended statement of claim does not find its way into the precedent books. It leaves much to be desired. It alleges unconscionable conduct and alternatively undue influence on the part of the bank. It does not, as it might have done, allege undue influence on the part of the respondents' son Vincenzo, with notice on the part of the bank. The findings, and indeed the evidence, contradict or fail to support the alleged case of undue influence on the part of the bank. The critical issue then is whether, in accordance with the principle already explained, the respondents are entitled to relief on the ground of unconscionable conduct.

There are a number of factors which go to establish that there was a gross inequality of bargaining power between the bank and the respondents, so much so that the respondents stood in a position of special disadvantage vis-á-vis the bank in relation to the proposed mortgage guarantee. By way of contrast to the bank, the respondents' ability to judge whether entry into the transaction was in their own best interests, having due regard to their desire to assist their son, was sadly lacking. The situation of special disadvantage in which the respondents were placed was the outcome of their reliance on and their confidence in their son who, in order to serve his own interests, urged them to provide the mortgage guarantee which the bank required as a condition of increasing the approved overdraft limit of his company, V Amadio Builders Pty Ltd ("the company"), from $80 000 to $270 000 and misled them as to the financial position of the company. Their reliance on their son was due in no small degree to their infirmities – they were Italians of advanced years, aged 76 and 71 respectively, having a limited command of written English and no experience of business in the field or at the level in which their son and the company engaged. They believed that the company's business was a flourishing and prosperous enterprise, though temporarily in need of funds. In reality, as the bank well knew, the company was in a perilous financial condition ….

[466] In deciding whether the bank took unconscientious advantage of the position of disadvantage in which the respondents were placed, we must ask, first, what knowledge did the bank have of the respondents' situation?

Mr Virgo was aware that the respondents were Italians, that they were of advanced years and that they did not have a good command of English. He knew that Vincenzo had procured their

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agreement to sign the mortgage guarantee. He had no reason to think that they had received advice and guidance from anyone but their son. In cross-examination he conceded that he believed that Vincenzo had acted in the "role of adviser/explainer" in relation to the transaction and referred to him as acting "in his capacity as dominant member of the family". Mr Virgo also knew that, in the light of the then financial condition of the company, it was vital to Vincenzo to secure his parents' signature to the mortgage guarantee so that the company could continue in business. It must have been obvious to Mr Virgo, as to anyone else having knowledge of the facts, that the transaction was improvident from the viewpoint of the respondents. In these circumstances it is inconceivable that the possibility did not occur to Mr Virgo that the respondents' entry into the transaction was due to their inability to make a judgment as [467] to what was in their best interests, owing to their reliance on their son, whose interests would inevitably incline him to urge them to sign the instrument put forward by the bank.

Indeed, the inquiry by Mr Amadio senior as to the duration of the arrangement should have alerted Mr Virgo to the likelihood that Vincenzo had not adequately or accurately explained the intended transaction to them, let alone the possible or probable consequences which attended it.

Whether it be correct or incorrect to attribute to Mr Virgo knowledge of this possibility, the facts as known to him were such as to raise in the mind of any reasonable person a very real question as to the respondents' ability to make a judgment as to what was in their own best interests. In *Owen and Gutch v Homan* (1853) 4 HLC at 1035 [10 ER at 767], Lord Cranworth LC said:

> … it may safely be stated that if the dealings are such as fairly to lead a reasonable man to believe that fraud must have been used in order to obtain [the concurrence of the surety], he is bound to make inquiry, and cannot shelter himself under the plea that he was not called on to ask, and did not ask, any questions on the subject. In some cases wilful ignorance is not to be distinguished in its equitable consequences from knowledge.

The principle there stated applies with equal force to this case. The concept of fraud in equity is not limited to common law deceit; it extends to conduct of the kind engaged in by the respondents' son when he took advantage of the confidence and reliance reposed in him to induce his parents to enter into a transaction in order to serve his ends, thereby depriving them of the ability to make a judgment as to what is in their interests.

As we have seen, if A having actual knowledge that B occupies a situation of special disadvantage in relation to an intended transaction, so that B cannot make a judgment as to what is in his own interests, takes unfair advantage of his (A's) superior bargaining power or position by entering into that transaction, his conduct in so doing is unconscionable. And if, instead of having actual knowledge of that situation, A is aware of the possibility that that situation may exist or is aware of facts that would raise that possibility in the mind of any reasonable person, the result will be the same.

The knowledge of Mr Virgo was the knowledge of the bank. Whether we treat Mr Virgo as having knowledge of the possibility already discussed or as having knowledge of facts which [468] would raise that possibility in the mind of any reasonable person the inevitable conclusion is that the bank was guilty of unconscionable conduct by entering into the transaction without disclosing such facts as may have enabled the respondents to form a judgment for themselves and without ensuring that they obtained independent advice.

I agree with Deane J that it matters not that the respondents have not offered to do equity. In the result I am of opinion that the respondents were entitled to an order setting aside the mortgage guarantee and that the appeal to this Court should be dismissed.

[36.25] DEANE J: [474] The jurisdiction of courts of equity to relieve against unconscionable dealing developed from the jurisdiction which the Court of Chancery assumed, at a very early period, to set aside transactions in which expectant heirs had dealt with their expectations without being adequately protected against the pressure put upon them by their poverty: see *O'Rorke v Bolingbroke* (1877) 2

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App Cas 814 at 822. The jurisdiction is long established as extending generally to circumstances in which:

(1) a party to a transaction was under a special disability in dealing with the other party with the consequence that there was an absence of any reasonable degree of equality between them; and

(2) the disability was sufficiently evident to the stronger party to make it prima facie unfair or "unconscientious" that he procure, or accept, the weaker party's assent to the impugned transaction in the circumstances in which he procured or accepted it. Where such circumstances are shown to have existed, an onus is cast upon the stronger party to show that the transaction was fair, just and reasonable: "the burthen of shewing the fairness of the transaction is thrown on the person who seeks to obtain the benefit of the contract": see *O'Rorke v Bolingbroke* at 823 per Lord Hatherley; *Fry v Lane* (1888) 40 Ch D 312 at 322; *Blomley v Ryan* (1956) 99 CLR 362 at 428–9.

The equitable principles relating to relief against unconscionable dealing and the principles relating to undue influence are closely related. The two doctrines are, however, distinct. Undue influence, like common law duress, looks to the quality of the consent or assent of the weaker party: see *Union Bank of Australia Ltd v Whitelaw* [1906] VLR 711 at 720; *Watkins v Combes* (1922) 30 CLR 180 at 193–4; *Morrison v Coast Finance Ltd* (1965) 55 DLR (2d) 710 at 713. Unconscionable dealing looks to the conduct of the stronger party in attempting to enforce, or retain the benefit of, a dealing with a person under a special disability in circumstances where it is not consistent with equity or good conscience that he should do so. The adverse circumstances which may constitute a special disability for the purposes of the principles relating to relief against unconscionable dealing may take a wide variety of forms and are not susceptible to being comprehensively catalogued. In *Blomley v Ryan*, Fullagar J listed some examples of such disability (at 405): "poverty or need of any kind, sickness, age, sex, infirmity of body or mind, drunkenness, illiteracy or lack of education, lack of assistance or explanation where assistance or explanation is necessary."

[475] As Fullagar J remarked, the common characteristic of such adverse circumstances "seems to be that they have the effect of placing one party at a serious disadvantage vis-á-vis the other".

In most cases where equity courts have granted relief against unconscionable dealing, there has been an inadequacy of consideration moving from the stronger party. It is not, however, essential that that should be so: see *Blomley v Ryan* at 405; *Harrison v National Bank of Australasia Ltd* [1928] Tas LR 1; but compare *Lloyds Bank v Bundy* [1975] QB 326 at 337 and *Cresswell v Potter* [1978] 1 WLR 255 at 257. Notwithstanding that adequate consideration may have moved from the stronger party, a transaction may be unfair, unreasonable and unjust from the view point of the party under the disability. An obvious instance of circumstances in which that may be so is the case where the benefit of the consideration does not move to the party under the disability but moves to some third party involved in the transaction. Thus, it is established that the jurisdiction extends, in an appropriate case, to relieve a guarantor of the burden of a guarantee of existing and future indebtedness: see *Owen and Gutch v Homan* (1853) 4 HLC 997; 10 ER 752 at 1034–5 (HLC), 767 (ER). Such a guarantee is properly to be viewed in the terms enunciated by Cussen J in *Bank of Victoria Ltd v Mueller* [1925] VLR 642 at 649:

> In the first place, it is obvious that a large benefit is conferred both on the creditor and the debtor, which, so far as an advantage to the guarantor is concerned, is voluntary, though no doubt "consideration" exists so far as the creditor is concerned, so soon as forbearance is in fact given or advances are in fact made. It is, I think, to some extent by reference to the rule or to an extension of the rule that, in the case of a large voluntary donation, a gift may be set aside in equity if it appears that the donor did not really understand the transaction, that such a guarantee may be treated as voidable as between the husband and wife.

Cussen J's analysis was made in the context of a guarantee procured by a husband from his wife in favour of the husband's bank. There is, however, no basis in principle or in policy for confining the

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process of reasoning therein contained to cases of the relief of female spouses. It is appropriate to the circumstances of the present case.

I turn to consider the question whether, at the time they executed the guarantee-mortgage, Mr and Mrs Amadio were under a relevant disability in dealing with the bank. [His Honour compared the relative positions of the bank and the Amadios, and continued:] [476] It is apparent that Mr and Mrs Amadio, viewed together, were the weaker party to the transaction between themselves and the bank. Their weakness may be likened to that of the defendant in *Blomley v Ryan* (1956) 99 CLR 362 at 392, of whom McTiernan J said:

> His weakness was of the kind spoken of by Lord Hardwicke [in *Earl of Chesterfield v Janssen* (1751) 2 Ves Sen, 125 at 155–6; 28 ER 82 at 100] in defining the fraud characterised as taking surreptitious advantage of the weakness, ignorance or necessity of another. The essence of such weakness is that the party is unable to judge for himself.

That weakness constituted a special disability of Mr and Mrs Amadio in their dealing with the bank of the type necessary to enliven the equitable principles relating to relief against unconscionable dealing. Put more precisely, the result of the combination of their age, their limited grasp of written English, the circumstances in which the bank presented the document to them for their signature and, most importantly, their lack of knowledge and understanding of the contents of the document was that, to adapt the words of Fullagar J quoted above, they lacked assistance and advice where assistance and advice were plainly necessary if there were to be any reasonable degree of equality between themselves and the bank.

The next question is whether the special disability of Mr and Mrs Amadio was sufficiently evident to the bank to make it prima facie unfair or "unconscientious" of the bank to procure their execution of the document of guarantee and mortgage in the circumstances in which that execution was procured. In procuring it, the bank acted through Mr Virgo; his actions were the actions of the bank and his knowledge was the knowledge of the bank. His evidence indicates that he was not unacquainted with the personal circumstances of Mr and Mrs Amadio and their reliance on Vincenzo whom he described as the "dominant member of the family". He was aware of the inability of Amadio Builders to pay its debts as they fell due and must also have been aware of the potential consequences to Mr and Mrs Amadio of the unlimited guarantee in the document which he tendered to them for their immediate execution.

It has not been argued on behalf of the bank that Mr Virgo was so unaware of the circumstances in which Mr and Mrs Amadio executed the document that he was entitled to believe that the transaction was one where no advice, independent or otherwise, was called for. The argument for the bank has been to the effect that, at relevant times, Mr Virgo honestly and reasonably relied upon a representation made to him, by Vincenzo, that the latter had discussed the transaction with his parents, informed them of its nature and effect, explained it fully to them and duly obtained their consent to it.

The evidence that Vincenzo made any such representation to Mr Virgo is unimpressively sparse. Upon analysis, it consists of Mr Virgo's own evidence that he assumed that Mr and Mrs Amadio's "agreement or offer to give this mortgage was a result of a family conference of some sort". When it was suggested to him that there was nothing upon which he could base that [478] assumption apart from the fact that Vincenzo had told him that he had spoken to his parents about the transaction and that the bank could proceed with it, Mr Virgo answered:

> That is right. The whole thing had come to me as a fait accompli, not only from the bank's point of view but also having then been informed by Vin Amadio that the matter had been agreed within the family and all that required to be done was for the execution of the document.

The references to "a family conference" and to the matter being "agreed within the family" are explained in a later passage in the evidence where Mr Virgo described an allegedly well known Italian custom of submitting business propositions to penetrating and exhaustive familial discussion presided

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over by "the head of the family group". When asked whether he believed that Vincenzo occupied the role of "adviser–explainer" in respect of the transaction between his parents and the bank, Mr Virgo replied:

> I suppose you could say that; but really I just assumed that the matter had been discussed. Now, whether any direction had been given by Mr Amadio Jnr in his capacity as dominant member of the family or not, I really have no idea. I certainly was led to believe that the matter was a fait accompli and had been discussed.

It must, in fairness, be stressed that there is no suggestion that Mr Virgo or any other officer of the bank has been guilty of dishonesty or moral obliquity in the dealings between Mr and Mrs Amadio and the bank. The evidence does, however, demonstrate that there was no proper basis at all for any assumption that Mr and Mrs Amadio had received adequate advice from Vincenzo as to the effect of the document which Mr Virgo presented to them for their signature. Even if that were not the case, it would be difficult to accept as reasonable a belief that Vincenzo had successfully explained to his parents the content and effect of a document which embodied 18 separate covenants of meticulous and complicated legal wording in circumstances where, to Mr Virgo's knowledge, Vincenzo had himself never seen the document at the time when any such suggested explanation must have taken place. If there were otherwise room for doubt, what transpired when Mr Virgo called on Vincenzo in his office and on Mr and Mrs Amadio in their kitchen makes clear that Mr Virgo simply closed his eyes to the vulnerability of Mr and Mrs Amadio and the disability which adversely affected them.

Mr Virgo gave evidence that Vincenzo did not trouble even to read the document before agreeing that Mr Virgo should take it to Mr and Mrs Amadio for execution. He also gave evidence that [479] Mr and Mrs Amadio did not read it. In other words, in a situation where it was apparent to him that advice and assistance were necessary, he knew that no one who might have rendered such advice and assistance to Mr and Mrs Amadio had even read the document to ascertain whether its terms imposed no greater potential liability upon Mr and Mrs Amadio than that which they were prepared to undertake. In the circumstances, the only comment which either Mr or Mrs Amadio made as to the contents of the guarantee/mortgage on the occasion when they executed it, namely Mr Amadio's comment that it was only for six months, was of unmistakable significance. That statement revealed that Mr Amadio and, it must be assumed, Mrs Amadio were seriously misinformed as to a basic term of the transaction. It would, at least by that stage, have been plain to any reasonable person, who was prepared to see and to learn, that he was put on inquiry. The stage had been reached at which the bank, through Mr Virgo, was bound to make a simple inquiry as to whether the transaction had been properly explained to Mr and Mrs Amadio. The bank cannot shelter behind its failure to make that inquiry. The case is one in which, "wilful ignorance is not to be distinguished in its equitable consequences from knowledge": *Owen and Gutch v Homan* 997 at 1035; 752 at 767 per Lord Cranworth LC.

Mr and Mrs Amadio's disability and the inequality between themselves and the bank must be held to have been evident to the bank and, in the circumstances, it was prima facie unfair and "unconscientious" of the bank to proceed to procure their signature on the guarantee/mortgage. With that conclusion, the onus is cast upon the bank to show that the transaction was "in point of fact fair, just, and reasonable": *Fry v Lane* (1888) 40 Ch D 312 at 321.

Mr and Mrs Amadio were not wholly misinformed as to the terms and effect of the guarantee/mortgage. The learned trial judge found that they correctly understood that the document which they were signing was a guarantee supported by a mortgage of their Wicks Avenue land. In that regard, it is relevant to mention that the evidence discloses that Mr and Mrs Amadio had, on a number of previous occasions, provided a guarantee, supported by a mortgage of that land, to secure borrowing by a company associated with one or other of their sons. While it is true that Mr and Mrs Amadio were initially led to believe that the guarantee/mortgage was limited in duration to six months, they were disabused of that notion by the clear indication given by Mr Virgo, [480] prior to execution of the document, that the guarantee/mortgage was a "continuing" one and unlimited in point of time. They

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executed the document to assist their son's company in obtaining credit from the bank. Acting on the basis of that execution, the bank extended Amadio Builders' overdraft limit and advanced further money to that company. If Mr and Mrs Amadio's potential liability had been limited to a maximum of $50 000, and if they had been informed as to the true financial position of Amadio Builders, it would be strongly arguable that the guarantee/mortgage could not properly be said either to have resulted from their special disability or to be other than fair, just and reasonable.

As has been said however, the guarantee/mortgage did not contain any such limit upon potential liability and Mr and Mrs Amadio were under a complete misapprehension as to the financial stability of the company whose indebtedness to the bank they were guaranteeing. The learned trial judge found that had they known of the financial trouble Amadio Builders was then experiencing, they would not have executed the guarantee/mortgage. That finding has not been challenged on the appeal. In the circumstances, the execution of the guarantee/mortgage by Mr and Mrs Amadio flowed from the position of special disability in which they were placed. From Mr and Mrs Amadio's point of view, the great difference between a potential liability of up to $50 000 under a guarantee of a financially successful company and a potential liability under a guarantee of a financially troubled company in whatever amount that company might become indebted to its bank requires little elaboration. The one would have been within their means to incur to assist their son. The other represented their potential financial ruin. In the circumstances in which it was procured, the guarantee/mortgage was unfair, unjust and unreasonable. Indeed, in fairness to the bank, I did not understand the contrary to be submitted on its behalf.

Relief against unconscionable dealing is a purely equitable remedy. The concept underlying the jurisdiction to grant the relief is that equity intervenes to prevent the stronger party to an unconscionable dealing acting against equity and good conscience by attempting to enforce, or retain the benefit of, that dealing. Equity will not, however:

> restrain a defendant from asserting a claim save to the extent that it would be unconscionable for him to do so. If this limitation on the power of equity results in giving to a plaintiff less than what on some general ideal of fairness he might be considered entitled to, that cannot be helped: *Re Diplock* [1948] 1 Ch 465 at 532 per Lord Greene [481] MR, Wrottesley and Evershed LJJ.

Where appropriate, an order will be made which only partly nullifies a transaction liable to be set aside in equity pursuant to the principles of unconscionable dealing: see *Bank of Victoria Ltd v Mueller* [1925] VLR 642 at 659, and the cases there cited. Where an order is made setting aside the whole of a transaction on the ground of unconscionable dealing, the order will, in an appropriate case, be made conditional upon the party obtaining relief doing equity.

While the matter was not raised in the bank's Notice of Appeal, I was, at one stage, inclined to think that the appropriate relief in the present case would be an order setting aside the guarantee/mortgage only to the extent to which it imposed upon Mr and Mrs Amadio a potential liability in excess of $50 000 or that any order wholly setting aside the guarantee/mortgage should be conditional upon Mr and Mrs Amadio paying to the bank the amount of $50 000 which represents the amount of the potential liability which they intended to undertake. Ultimately, I have come to the view that Mr and Mrs Amadio are entitled to have the whole transaction set aside unconditionally. It is true that it is not ordinarily encumbent upon a bank to bring to the attention of a potential guarantor of a customer's account details of a type which are ordinarily to be expected: see *Goodwin v National Bank of Australasia Ltd* (1968) 117 CLR 173 at 175. In the present case, however, it was, as has been said, evident to the bank that Mr and Mrs Amadio stood in need of advice as to the nature and effect of the transaction into which they were entering. It is apparent that any such advice would have included the importance to a guarantor of ascertaining from the bank the state of the customer's account which was being guaranteed and any unusual features of the account. If such information had been obtained by Mr and Mrs Amadio, they would not, on the evidence and in the light of the learned trial judge's finding, have entered into the guarantee/mortgage at all. The whole transaction should

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properly be seen as flowing from the special disability which was evident to the bank and as being unfair, unjust and unreasonable.

[WILSON J delivered a judgment concurring with Deane J. DAWSON J dissented. GIBBS CJ delivered a judgment in which he expressed the view that the bank had not taken unfair advantage of the respondent's disabilities. His Honour nevertheless concurred in the dismissal of the appeal on the ground that although a contract of guarantee is not uberrimae fidei, a bank which takes a guarantee is bound to reveal to the surety anything which has taken place between the bank and the principal debtor which the surety would not expect to exist. In this case, this would include:

1. the arrangement that the overdraft limit of $270,000 was especially temporary; and
2. the participation of the bank in selective dishonouring of cheques.]

Appeal dismissed.

Louth v Diprose

[36.35] *Louth v Diprose* (1992) 175 CLR 621 (High Court of Australia) – Appeal from the Supreme Court of South Australia, Full Court.

[FACTS: Mary Louth (the *appellant*) and Louis Diprose (the *respondent*) met at a party in Launceston in November 1981. The appellant was married but her marriage was about to end, and her husband left her shortly afterwards. There were two children of her marriage; she had custody of them. The respondent, a practising solicitor, was married. His first marriage had ended in divorce and the final separation from his second wife was about to take place. The parties became friendly and began to go out together fairly regularly. Intercourse took place shortly after their first meeting and again about eight months later. During a relationship which continued for about seven years, intercourse took place on those two occasions only. Feelings were much stronger on the respondent's side. Over the years he composed many poems which he called "The Mary Poems". These were variously sentimental, passionate, and on the theme of unrequited love.

On 23 August 1982, the appellant left Launceston for Adelaide. She was in straitened financial circumstances following the breakdown of her marriage and she hoped for help from her sister and her sister's husband, Mr and Mrs Volkhardt. The respondent tried to persuade her to stay in Launceston. His proposal of marriage was rejected.

In January 1983 the respondent visited Adelaide. The appellant said she could not go out with him because she had met another man. The respondent returned to Launceston but decided to move to Adelaide permanently, mainly because the appellant was there. He moved to Adelaide in February 1983. At first he made no contact with the appellant, being concerned that she might think he was harassing her. He did send her a partly completed volume of "The Mary Poems" in April 1983. Later he called at her home but did not see her. Mr Volkhardt contacted the respondent to say that the appellant did not wish to see him.

In May 1983, the appellant telephoned the respondent twice but refused to give him her telephone number. In July 1983, she rang again to say that she was depressed and that the respondent might like to take her to lunch the next day. They did in fact lunch together. At first the appellant was in a very bright mood but later she said that "life was very bad" and that a few nights earlier she had put a Stanley knife to one of her wrists and had thought of slashing it. She did not show the respondent a scar at that time though she did so later, in 1984 and again in 1985. The respondent drove the appellant home after lunch and said that his attitude to her had not changed. The appellant replied: "Oh well, if you don't try and hassle me, I would probably let you sleep with me occasionally, but I don't want any commitment." Nevertheless, the appellant did not give the respondent her

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telephone number until November 1983 although she telephoned him a couple of times during that period.

Thereafter the respondent telephoned and called on the appellant regularly. He continued to express the depth of his feelings for her. The appellant made it clear that she did not feel the same way about him but that she was happy to treat him as a friend. The pattern of their relationship continued as before until the middle of 1985. The respondent made many gifts to the appellant, some of jewellery and others of a less personal nature such as a television set and a washing machine. From time to time he picked up unpaid household bills lying around and paid them.

In September 1984 the Volkhardts separated; they were later divorced. Mr Volkhardt owned a house in Tranmere in which the appellant was living with her children and for which she paid a low rent. The Volkhardts' matrimonial home was in their joint names. Shortly after the separation Mr Volkhardt said to the appellant, speaking of the house at Tranmere, that: she should be paying more rent or maybe it would be a good idea to put her name down on the housing list because she couldn't assume she would live there forever. The conversation as reported to the respondent by the appellant was that she had been told by her brother-in-law that her sister was seeking a property settlement from him and that, among other things, the house at Tranmere would have to be sold. She told the respondent she would commit suicide if she were forced to leave.

The respondent agreed to buy the Tranmere house from Mr Volkhardt for $58,000, expenses being $933. The purchase money came from a mortgage investment of his which was to be paid out at the end of June 1985. In the respondent's presence and by arrangement between them, the appellant signed the contract of sale as purchaser and the land was transferred directly to her.

For the remainder of 1986, 1987 and into 1988 the relationship between the parties was much as it had always been. The respondent continued to telephone the appellant and to call on her. He brought food to the home and paid bills from time to time. The appellant's children moved to private schools and the respondent met their fees for a while. The respondent's ardour continued unabated; the appellant's generally offhand approach to the respondent did not alter.

However, in mid-1988 the situation changed. The respondent bought a house at Crafers, borrowing the entire purchase price from his mother and a building society. He had to vacate the house he was renting before he was able to take possession of his new home. By arrangement, the respondent's son moved into the house at Tranmere and in August 1988 the appellant permitted the respondent to do likewise, in both cases pending settlement of the Crafers purchase. The respondent was there for two to three weeks, during which time his relations with the appellant deteriorated. She had a male friend and she resented the respondent's presence. There was a quarrel. The respondent told the appellant he wanted her to transfer the Tranmere house to him and to pay some rent for her occupation of it. The appellant refused on both counts, saying that the house was hers. On 21 September 1988, solicitors acting for the respondent wrote to the appellant saying that they had been instructed to lodge a caveat against the appellant's title.

On 24 October 1988, the respondent commenced proceedings in the Supreme Court of South Australia, claiming that he was beneficially entitled to the land and seeking an order that the appellant transfer the land to him. The pleading asserted that it was an express term of the agreement or a common intention that the appellant would hold the land on trust for the respondent, and would transfer legal ownership of the land to him. The statement of claim pleaded, by way of an alternative, that if it were held that the respondent made a gift to the appellant, the appellant should not have the benefit of the agreement on the grounds of unconscionable conduct or undue influence.

The trial judge, King CJ, accepted the respondent's rather than the appellant's account of events leading to the purchase of the land in the appellant's name. However, he did not accept that the respondent stipulated that the appellant would be under an obligation to retransfer the house to him, and he accepted the appellant's evidence that the respondent told her the house was a gift. King CJ found for the respondent on the ground of the appellant's unconscionable conduct: the respondent was emotionally dependent on the appellant and she manipulated his infatuation so that he would

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provide money for the purchase by manufacturing a false atmosphere of crisis in relation to the house and threatening suicide. Accordingly, the Chief Justice ordered the appellant to transfer the house to the respondent.

The appellant appealed to the Full Court of the Supreme Court of South Australia. The Full Court (Jacobs ACJ and Legoe J, Matheson J dissenting) dismissed the appeal. The appellant appealed to the High Court.]

DEANE J: [635] [T]he appellant attacked the learned trial judge's acceptance of the respondent's evidence that the appellant had told him that she would commit suicide because she was required to leave the house in which she was living, in a context where his Honour rejected the respondent's evidence that the appellant had agreed that the house which was ultimately purchased in her name would subsequently be transferred to the respondent. The learned trial judge was fully conscious of a possible appearance of inconsistency in that regard. Indeed, he expressly explained (*Diprose v Louth (No 1)* (1990) 54 SASR, 448):

> I have reached certain conclusions on the basis of accepting the plaintiff's (ie the present respondent's) evidence in preference to that of the defendant as to the circumstances and events leading to the house transaction. I have given careful consideration to the question of the plaintiff's credibility in relation to those matters in the light of my rejection of his evidence that he stipulated for a right to have the house retransferred, but I am quite satisfied that on those matters his evidence is truthful and reliable and to be preferred to that of the defendant.

In other words, as Legoe J observed (*Diprose v Louth (No 2)* (1990) 54 SASR, 450, 463) in the Full Court:

> Although the learned Chief Justice placed little reliance upon the evidence of the appellant where it served her own interest, he concluded that the other evidence in the case so strongly confirmed that the respondent made a gift of the house to the appellant: "… (that) I have no hesitation in holding that there was such a gift. The presumption of trust arising from the provision of the purchase money by the plaintiff is therefore rebutted".

The fact that the learned trial judge generally preferred the evidence of the respondent to that of the appellant clearly did not preclude him, as a matter of logic or common sense, from rejecting the [636] respondent's evidence on a particular matter in respect of which other evidence "strongly confirmed" a contention by the appellant … The quotations in the following summary of relevant facts are from the judgment of the trial judge (see *Diprose v Louth (No 1)* (1990) 54 SASR 438, 447–8). In 1985, the respondent, who is a solicitor, was in his early forties. After two unsuccessful marriages, he was living in rented accommodation in Adelaide with the three children of his first marriage. Putting to one side an old car, a Chipmunk aeroplane (worth less than $30 000) and a share in a house owned with other members of his family in Tasmania, his net assets totalled less than $100 000. The appellant, who had been married and divorced, was living in Adelaide with her two children in a rented house owned by her sister's husband. She had few assets of her own and was living in straitened circumstances. The relationship between the respondent and the appellant went back to an initial relationship between them in Tasmania some years earlier. There was an extreme contrast between their respective attitudes to one another. For his part, the respondent was "utterly infatuated" by the appellant. He was "completely in love" with her. In contrast, the appellant had become "quite indifferent to" the respondent. The motives for her continued association with him "were of a material nature". His infatuation placed the respondent "in a position of emotional dependence upon the appellant and gave her a position of great influence on his actions and decisions".

The appellant's sister and the sister's husband, who owned the house which the appellant was renting, separated. The appellant "knew that ultimately she would have to go into a Housing Trust home to enable the house to be sold". There was, however, no immediate pressure upon her to leave the house. At the time, the respondent's main asset consisted of moneys lent on mortgage in a total amount of $91 000. The time for repayment of these moneys was about to fall due. The appellant

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"was aware in general terms that (the respondent) had only limited assets, that the mortgage moneys were his principal asset and that he had to work as an employee solicitor for a living. Moreover she was aware that he had three children who had natural claims upon his bounty."

The appellant set out on a planned course of conduct aimed at [637] persuading the respondent to provide the money necessary to enable her to purchase the house from her brother-in-law. She "deliberately manufactured" a false "atmosphere of crisis in order to influence the (respondent) to provide the money (to purchase) the house". She falsely told the respondent that she was required to leave the house. She said that, if forced to vacate the house, she would commit suicide. The respondent, who was aware that the appellant had cut her wrists on a previous occasion, believed her. By "a process of manipulation to which (the respondent) was utterly vulnerable by reason of his infatuation", the appellant obtained from the respondent a gift of $59 206.55, being the purchase price of the house and associated conveyancing fees. The process of manipulation included refusal of "offers of assistance (by the respondent) short of full ownership of the house knowing that (the respondent's) emotional dependence upon her was such as to lead inextricably to the gratification of her unexpressed wish to have him buy the house for her". On the basis of his findings about the appellant's purpose and conduct, the learned trial judge not surprisingly expressed the view that her conduct "smacked of fraud" …

On the findings of the learned trial judge in the present case, the relationship between the respondent and the appellant at the time of the impugned gift was plainly such that the respondent was under a special disability in dealing with the appellant. That special disability arose not merely from the respondent's infatuation. It extended to the extraordinary vulnerability of the respondent in the false "atmosphere of crisis" in which he believed that the woman with whom he was "completely in love" and upon whom he was emotionally dependent was facing eviction from her home and suicide unless he provided the money for the purchase of the house. The appellant was aware of that special disability. Indeed, to a significant extent, she had deliberately created it. She manipulated it to her advantage to influence the respondent to make the gift of the money to purchase the house. When asked for restitution she refused. From the respondent's point of view, the whole transaction was plainly a most improvident one.

In these circumstances, the learned trial judge's conclusion that the appellant had been guilty of unconscionable conduct in procuring and retaining the gift of $59 206.55 was not only open to him. In the context of his Honour's findings of fact, it was inevitable and plainly correct. On those findings, the case was not simply one in which the respondent had, under the influence of his love for, or infatuation with, the appellant, made an imprudent gift in her favour. The case was one in which the appellant deliberately used that love or infatuation and her own deceit to create a situation in which she could unconscientiously manipulate the respondent to part with a large proportion of his property. The intervention of equity is not merely to relieve the plaintiff from the consequences of his own foolishness. It is to prevent his victimisation (see, eg, *Allcard v Skinner* (1887) 36 Ch D 145, 182; *Nichols v Jessup* [1986] 1 NZLR 226, 227–9; *The Commonwealth v Verwayen* (1990) 170 CLR 394, 440) … [639] Accordingly, the appeal should be dismissed.

[36.40] TOOHEY J [dissenting]: [651] Now, there can be no doubt as to the strength of the respondent's feelings for the appellant and the lengths, including the financial lengths, to which he was prepared to go to express those feelings. But equally, while the appellant was content to accept the many benefits she received from the respondent, there can be no doubt that she made her position in the relationship quite clear. It was the respondent who continued to seek her out. She did not mislead him in regard to her position; she did not hold out any false hopes to him. They were both adults; each had been married before (the respondent twice); and the respondent was a practising solicitor who must have appreciated fully the consequences that the law would ordinarily attach to the gifts he made to the appellant, including the money involved in the purchase of the Tranmere house. It was the respondent's idea to buy the house, not the appellant's. In those circumstances, there is much force in the appellant's criticism of certain expressions used by the trial judge, such as "unrequited love", "pathetic devotion", "utter infatuation", "feeding the flames of the

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(respondent's) passion" and "bizarre behaviour". The expressions, while colourful, are not necessarily inaccurate, although they assume that a "normal" standard of conduct in such circumstances is readily discernible, an assumption which is questionable. Rather, as the appellant complained, such expressions tend to give an unbalanced picture of the relationship between the parties by placing undue emphasis on one of them.

With all its limitations and apparent disadvantages, the relationship was one the respondent was prepared to accept and to foster over about seven years. As unusual as it may have been, it was one which the respondent must have seen as having something to offer him. Apart from the two incidents mentioned, the relationship had no sexual aspect, at any rate physically. Whether the respondent sublimated through "The Mary Poems" can only be a matter of speculation though there are precedents in history and in literature for the sort of relationship that existed here. And, although he may not have been content with the limitations imposed on him by the appellant, the respondent continued as a constant visitor, involved in various aspects of the appellant's domestic life. To take one illustration, it might seem strange that the appellant's children were, in the words of King CJ, "transferred from a State school to fee-paying schools at the (respondent's) expense" (*Diprose v Louth (No 1)* (1990) 54 SASR 438, 442). At the same time, the children of the two families seem to have had a close [652] relationship, the appellant's children staying overnight from time to time with the respondent's children.

There is one aspect of the facts that requires particular attention, that relating to the purchase of the Tranmere house. Reference has already been made to the Chief Justice's finding that the appellant manufactured an atmosphere of crisis to influence the respondent to provide the money for the purchase and her threats of suicide in that regard. This was a finding which played a prominent part in his Honour's conclusion of unconscionability; in particular, he said that the manufacture of a crisis where none existed "was dishonest and smacked of fraud" (ibid, 448).

With respect, the evidence does not support that finding. In seeking to make good that proposition, it is necessary to put to one side the evidence of the appellant herself for the Chief Justice found her testimony as to the circumstances leading to the purchase to be "quite unimpressive" (ibid, 444). But his Honour did find Mr Volkhardt, on this matter and indeed generally, to be "an honest and accurate witness" (ibid). It is true that the respondent testified to a conversation in which the appellant spoke of the lack of security in her life and said that she did not think she could face the prospect of moving from the Tranmere house, adding (ibid, 443): "Look, if it comes to that, I'll just kill myself. I'll make a good job of it this time." But regard must be had to the whole of the evidence, particularly that of Mr Volkhardt. His evidence is set out at length in the judgment of Matheson J (*Diprose v Louth (No 2)* (1990) 54 SASR, 479–80).

According to Mr Volkhardt, when the respondent told him that he wanted to buy the Tranmere house for the appellant, he (Mr Volkhardt) said he was very surprised and asked to see the respondent. They met. The respondent accepted the fact that the appellant would never marry him. Nevertheless, he wanted her to be happy and secure, which is why he bought the house for her. Mr Volkhardt said that he had no immediate intention to sell the house and added: "Certainly there was no great pressure to sell." Now, there is some ambiguity in the record of this part of Mr Volkhardt's evidence. It is not clear beyond argument that at this point he was continuing his account of his conversation with the respondent or was simply giving evidence of his own state of mind. But, in the light of the whole of his evidence, the conclusion reached by Matheson J is irresistible. His Honour said (ibid, 480): [653]

> It is convenient to observe here that whatever the appellant had said to the respondent about her sister seeking a property settlement, he must have realised after his conversation with Volkhardt that the appellant was not facing an early crisis over the sale of the house.

It is apparent from what the respondent told Mr Volkhardt that he bought the house for the appellant because she "had been through a lot of … stress and problems" and because he "wanted her to be secure" (ibid, 479). The respondent gave a similar explanation for the purchase of the house to the appellant's mother, Mrs Webb (ibid, 481–2). And, as is apparent from the evidence of these

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two witnesses and from the evidence generally, he bought the house for her in the clear realisation that she would never marry him. As Matheson J pointed out in his judgment, the respondent took a number of steps in connection with the purchase of the house. He prepared the contract of sale, arranged Land Titles Office searches, obtained an application form under the First Home Owners Scheme and filled in the details, prepared the transfer and prepared the settlement statement. In other words, the respondent did not commit himself by one impulsive or hasty act; he had plenty of time to consider what he was doing and what he did took place over a month.

There is an aspect of the Chief Justice's findings which troubled Matheson J, namely, his disbelief of the respondent on what Matheson J described as "the primary issue whether he paid for the house on the basis that it was to be held in trust for him" (ibid, 480) and yet his belief of the respondent on what Matheson J described as "secondary issues" (ibid). The dilemma exists. This Court cannot resolve it but it does serve to expose the fact finding to greater scrutiny than would ordinarily be the case …

Having regard to King CJ's clear rejection of the respondent's case based on an agreement to transfer the Tranmere house to him, the starting point is, as the Chief Justice expressly found, that there was a gift of the house to the appellant. It was of course a very generous gift in the circumstances; it was a gift that the respondent's children might justifiably have resented; and it was a gift that the [654] respondent himself might well have regretted and later did regret. But the law is clear (*Brusewitz v Brown* [1923] NZLR 1106, per Salmond J at 1109):

> The mere fact that a transaction is based on an inadequate consideration or is otherwise improvident, unreasonable, or unjust is not in itself any ground on which this Court can set it aside as invalid. Nor is such a circumstance in itself even a sufficient ground for a presumption that the transaction was the result of fraud, misrepresentation, mistake, or undue influence, so as to place the burden of supporting the transaction upon the person who profits by it. The law in general leaves every man at liberty to make such bargains as he pleases, and to dispose of his own property as he chooses. However improvident, unreasonable, or unjust such bargains or dispositions may be, they are binding on every party to them unless he can prove affirmatively the existence of one of the recognized invalidating circumstances, such as fraud or undue influence.

Salmond J's reference to "invalidating circumstances" must now be read in the light of the more general propositions in *Blomley* and in *Amadio*.

Although the concept of unconscionability has been expressed in fairly wide terms, the courts are exercising an equitable jurisdiction according to recognised principles. They are not armed with a general power to set aside bargains simply because, in the eyes of the judges, they appear to be unfair, harsh or unconscionable. This is in contrast to some legislation which "permits the courts to exercise a broad discretion to control harsh, oppressive, unconscionable or unjust contracts" (Cope, *Duress, Undue Influence and Unconscientious Bargains* (1985), p 188. For a review of the relevant statutory powers, see pp 174–208). The equitable jurisdiction exists when one of the parties "suffers from some special disability or is placed in some special situation of disadvantage" (*Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447, per Mason J at 461). In some cases, for instance where there is unfamiliarity with written English as in *Amadio* or unintelligence and deafness as in *Wilton v Farnworth* (1948) 76 CLR 646, the special situation of disadvantage may be readily apparent. But that is not the present case. Although the appellant's attack on the findings of the trial judge is generally persuasive, it is not necessary to make contrary findings in order to reach a contrary conclusion. For the most part the findings are of a general nature, bearing upon the relationship between the parties. The appellant's complaint that those findings focus unduly on the position of the respondent and fail to pay due regard to the [655] overall relationship of the parties is, I think, well founded. In particular, his Honour's assessment that the appellant's "manufacture of an atmosphere of crisis where no crisis existed was dishonest and smacked of fraud" (*Diprose v Louth (No 1)* (1990) 54 SASR 438, 448) is not so much a finding as an inference. In either case, it does not find great support in the evidence.

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But the important thing is that the respondent failed to make good the proposition that his relationship with the appellant placed him in some special situation of disadvantage so that he should be recognised as the beneficial owner of the Tranmere house. The relationship was one which might be thought to have little to offer him but it was one in which he was content to persist and which the appellant in no way misrepresented or disguised. The respondent was well aware of all the circumstances and of his actions and their consequences. This applies particularly with respect to the purchase of the house. That knowledge and his clear appreciation of the consequences of what he was doing run directly counter to a conclusion that he was suffering from some special disability or was placed in some special situation of disadvantage. It is clear that the respondent was emotionally involved with the appellant. But it does not follow that he was emotionally dependent upon her in any relevant legal sense (see *Diprose v Louth (No 2)* (1990) 54 SASR 450 per Matheson J at 480).

As appears from the judgment of Matheson J, the respondent accepted that, if he could not make good a case founded on unconscionability, it would be "almost impossible to succeed" (ibid, 482) on the ground of undue influence. And before this Court he did not attempt to sustain a case on that ground.

I would allow the appeal …

[MASON CJ and BRENNAN J delivered judgments in which they held that the appeal should be dismissed. DAWSON, GAUDRON and McHUGH JJ delivered a joint judgment in which they also held that the appeal should be dismissed.]

Appeal dismissed.

[36.45] Notes

The ruling in the principal case has been criticised on the ground that it implicitly adopts inappropriate archetypes such as the "scheming temptress" and the "benign romantic suitor": see Sarmas, "Storytelling and the Law: A Case Study of *Louth v Diprose*" (1994) 19 *Melbourne University Law Review* 701. Also Hepburn, "Equity and Infatuation" (1993) 18 *Alternative Law Journal* 208; Haigh and Hepburn, "The Bank Manager Always Rings Twice: Stereotyping in Equity after *Garcia*" (2000) 26 *Monash University Law Review* 275, 300–1; Otto, "A Barren Future? Equity's Conscience and Women's Inequality" (1992) 18 *Melbourne University Law Review* 808, 823–5.

CHAPTER ***37***

Impropriety by third parties

[37.05] THREE-PARTY SITUATIONS 1087
[37.10] THE RULE IN YERKEY V JONES 1087
[37.15] *Garcia v National Australia Bank* 1088

THREE-PARTY SITUATIONS

[37.05] The cases considered in Chapters 33–36 involve two parties; one party will have tainted the decision-making process of the other party (the *plaintiff)* through misleading conduct, or have exerted illegitimate pressure, undue influence or unconscionable conduct so as to justify the plaintiff being released from the resultant contract. In other cases, the consent of the plaintiff in entering into a contract with the defendant may be tainted by a person who is not a party to that contract (sometimes termed a *third party*). This chapter consider the circumstances in which a plaintiff who has been subject to pressure or exploitation emanating from a third party may obtain relief from a contract with a defendant.

For example, if P is coerced by TP to guarantee TP's debt to D (TP's bank); or if P is misled by TP's misrepresentation to charge P's property in favour of D (TP's bank) to secure TP's overdraft, then in certain circumstances, the guarantee or security can be set aside at the instance of P.

The possible grounds for challenging such a transaction include:

1. agency;
2. unconscionable dealing;
3. notice of undue influence;
4. in Australia, a special principle applying to wives who guarantee their husbands' loans; and
5. under statute, as discussed in Chapter 38.

THE RULE IN YERKEY V JONES

[37.10] In Australia, a special rule to protect wives who guaranteed their husbands' debts was enunciated by Dixon J in *Yerkey v Jones* (1940) 63 CLR 649 (*Yerkey*). There are two parts to the rule.

First, Dixon J explained at 678:

> Although the relation of husband to wife is not one of influence, yet the opportunities it gives are such that if the husband procures his wife to become surety for his debt a creditor who accepts her suretyship obtained through her husband has been treated as taking it subject to any invalidating conduct on the part of her husband even if the creditor be not actually privy to such conduct.

Secondly, Dixon J explained at 683 that:

> If a married woman's consent to become a surety of her husband's debts is procured by the husband and, without understanding its effect in essential respects, she executes an instrument of suretyship which the creditor accepts without dealing with her personally, she has a prima facie right to have it set aside.

The rule does not apply if the wife benefits from the transaction. If the debtor is not the husband but a company controlled by him, and the wife does not have a substantial interest in that company, the principle still applies.

To avoid having a guarantee or charge impeached, a lender may be obliged to take steps to ensure that it has reasonable grounds for believing that the consent of the guarantor was fairly obtained and that that consent, with the benefit of independent advice, was adequately informed.

In modern times, a number of issues arise: is special protection for married women consonant with the ideal of social and economic equality for spouses? Should the law countenance in this context a distinction between marital relationships on the one hand and other intimate relationships on the other? Has *Yerkey* been subsumed under the rule in *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447? Such questions confronted the High Court in the following case.

Garcia v National Australia Bank

[37.15] *Garcia v National Australia Bank Limited* [1998] HCA 48; (1998) 194 CLR 395 (High Court of Australia) – Appeal from the New South Wales Court of Appeal.

[FACTS: In August 1979, Mrs Garcia (*the appellant*) and her husband executed a mortgage over their home in favour of the bank (*the respondent*). The mortgage was an "all-moneys" mortgage. It secured all moneys which the mortgagors might owe the mortgagee, including moneys owing under future guarantees given by either of them to the mortgagee. It was given to secure a loan made to the husband for use in his business and was later used as security for a personal loan made to the appellant and her husband. These loans were repaid, but the mortgage was not discharged.

The appellant's husband conducted a business of buying and selling gold through a company called Citizens Gold Bullion Exchange Pty Ltd (Citizens Gold). Between 1985 and 1987, the appellant signed four guarantees in favour of the respondent. Three of the guarantees guaranteed repayment to the bank of debts owed by Citizens Gold. Of these guarantees, one dated 25 November 1987 was limited to $270,000 plus interest, costs and charges (the November 1987 guarantee).

On 1 September 1988, the appellant and her husband separated. The appellant told the bank of this and asked that the bank account of Citizens Gold be kept within limits. After this, the balance of the Citizens Gold account fluctuated. On 13 October 1989, an order was made for the winding-up of Citizens Gold.

On 30 November 1989, the appellant obtained a decree nisi for dissolution of her marriage; that decree became absolute on 1 January 1990. The Family Court ordered that, subject to the mortgage in favour of the respondent, the appellant's husband transfer to her his interest in their property.

In June 1990, the appellant commenced proceedings in the Supreme Court of New South Wales seeking declarations that the mortgage and the guarantees she had given of the indebtedness of Citizens Gold were of no force or effect. She claimed relief on three bases: the rule in *Amadio*, the rule in *Yerkey* and undue influence.

In August 1990, the respondent demanded payment under the November 1987 guarantee and under the mortgage of amounts owing to it by Citizens Gold. It then made a cross-claim, in the proceedings commenced by the appellant, to claim possession of the mortgaged property and the sum which it had demanded.

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The appellant had signed the November 1987 guarantee following requests by her husband to do so in order that (as he told her) he might deal in larger amounts of gold than he had been. There was, so the appellant's husband told her, no danger because "if the money isn't there the gold is there". She signed the document at the places to which the bank officer pointed, in a process which took less than a minute and included no explanation of the transaction. She understood at the time she signed that she was executing a guarantee and she believed it was a guarantee of Citizens Gold's overdraft. However, she did not understand that the guarantee was secured by the all-moneys mortgage which she had signed in 1979 and she signed the guarantee thinking that it was quite safe to do so or was "risk proof" because there would either be money there or gold.

The trial judge, Young J, granted a declaration that none of the guarantees which the appellant had given bound her and that there were no moneys owing by the appellant to the respondent under the mortgage in respect of that interest which the appellant had in the mortgage property immediately prior to the making of the order in the Family Court of Australia. This relief was granted to the appellant on the basis of *Yerkey*. Although the appellant was a director of Citizens Gold and was recorded as being a shareholder of the company, the company was found to be nothing more than Mr Garcia's creation, he being in complete control of it. The appellant was found not to be directly involved in Citizens Gold. Young J held further that the appellant's alternative case founded on *Amadio* was not made out. He found that, even if the behaviour of the appellant's husband towards her in relation to the execution of the November 1987 guarantee had been unconscionable, the respondent had no notice of that unconscionability when the appellant, an intelligent articulate lady with a professional position as a physiotherapist, called at the bank and appeared to be voluntarily signing a guarantee in respect of an account of which she was a director of the company concerned.

Although the appellant had pleaded a case of actual undue influence by her husband, Young J made no positive finding that the appellant's execution of the November 1987 guarantee had been procured by actual undue influence. He did find, however, that the husband pressured his wife to sign the document and that she appeared to have done so because her husband consistently pointed out what a fool she was in commercial matters whereas he was an expert, and because she was trying to save her marriage.

The respondent appealed to the Court of Appeal and the appellant cross-appealed. The Court of Appeal held that *Yerkey* no longer stated the law in Australia and that the relevant tests were now to be found exclusively in *Amadio*. The appeal of the respondent was therefore allowed, and the cross-appeal by the appellant was dismissed. The appellant appealed to the High Court.]

GAUDRON, MCHUGH, GUMMOW and HAYNE JJ: [403] The Court of Appeal held ((1996) 39 NSWLR 577, 598 per Sheller JA, with whom Meagher JA agreed) that it was not bound to follow *Yerkey v Jones*. Sheller JA concluded that what had been said to be the principle in *Yerkey v Jones* is "a principle to which one judge only adhered", namely Dixon J, and "at its heart … is based upon general assumptions about the capacity of married women rather than upon evidence of the circumstances of the particular case" ((1996) 39 NSWLR 577, 598).

He identified in some recent cases an expression of "doubts about a principle founded on the assumption that a married woman is ipso facto under a special disadvantage in any transaction involving her husband and that the husband is in this context the stronger party" ((1996) 39 NSWLR 577, 593: *European Asian of Australia Ltd v Kurland* (1985) 8 NSWLR 192, 200 per Rogers J; *Warburton v Whiteley* (1989) 5 BPR 11,628 at 11,629–30 per Kirby P; cf *Atkins v National Australia Bank* (1994) 34 NSWLR 155; *Teachers Health Investments Pty Ltd v Wynne* (1994) 6 BPR 13,499). Accordingly, Sheller JA concluded that "the so-called principle in *Yerkey v Jones* should no longer be applied in New South Wales" ((1996) 39 NSWLR 577, 598).

We consider the better view to be that the reasons for decision of Dixon J in *Yerkey v Jones* were not significantly different from the reasons of the other members of the Court … However, we do not base our decision upon some confined analysis of the case intended to identify its ratio decidendi. Rather,

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we consider that the principles spoken of by Dixon J in *Yerkey v Jones* are simply particular applications of accepted equitable principles which have as much application today as they did then.

Yerkey v Jones was said, in argument, to reflect outdated views of society generally and the role of women in society in particular. It was submitted that changes in Australian society since 1939, when *Yerkey v Jones* was decided, require that equitable rules move on to meet these changed circumstances.

That Australian society, and particularly the role of women in that society, has changed in the last six decades is undoubted. But some things are unchanged. There is still a significant number of women in Australia in relationships which are, for many and varied reasons, marked by disparities of economic and other power between the [404] parties. However, the rationale of *Yerkey v Jones* is not to be found in notions based on the subservience or inferior economic position of women. Nor is it based on their vulnerability to exploitation because of their emotional involvement (*Barclays Bank Plc v O'Brien* [1994] 1 AC 180, 198 per Lord Browne-Wilkinson; cf *Wilkinson v ASB Bank Ltd* [1998] 1 NZLR 674, 689), save to the extent that the case was concerned with actual undue influence.

So far as *Yerkey v Jones* proceeded on the basis of the earlier decision of Cussen J in *The Bank of Victoria Ltd v Mueller* [1925] VLR 642, it is based on trust and confidence, in the ordinary sense of those words, between marriage partners. The marriage relationship is such that one, often the woman, may well leave many, perhaps all, business judgments to the other spouse. In that kind of relationship, business decisions may be made with little consultation between the parties and with only the most abbreviated explanation of their purport or effect. Sometimes, with not the slightest hint of bad faith, the explanation of a particular transaction given by one to the other will be imperfect and incomplete, if not simply wrong. That that is so is not always attributable to intended deception, to any imbalance of power between the parties, or, even, the vulnerability of one to exploitation because of emotional involvement. It is, at its core, often a reflection of no more or less than the trust and confidence each has in the other.

It may be that the principles applied in *Yerkey v Jones* will find application to other relationships more common now than was the case in 1939 – to long term and publicly declared relationships short of marriage between members of the same or of opposite sex – but that is not a question that falls for decision in this case. It may be that those principles will find application where the husband acts as surety for the wife but again that is not a problem that falls for decision here. This case concerns a husband and wife and it is to that relationship that the present decision relates, just as it is concerned only with the circumstance of the wife acting as surety for her husband. The resolution of questions arising in the context of other relationships may well require consideration of other issues. Thus to take one example, if cohabitation is taken as a criterion, what should a lender know or seek to find out about the nature of the relationship between the parties? But those issues did not arise and were not debated on the hearing of this appeal.

In his reasons for decision in *Yerkey v Jones*, Dixon J dealt with at least two kinds of circumstances: the first in which there is actual undue influence by a husband over a wife and the second, that dealt with in *Mueller*, in which there is no undue influence but there is a failure to explain adequately and accurately the suretyship transaction which the husband seeks to have the wife enter for the immediate economic benefit not of the wife but of the husband, or the [405] circumstances in which her liability may arise … The former kind of case is one concerning what today is seen as an imbalance of power. In point of legal principle, however, it is actual undue influence in that the wife, lacking economic or other power, is overborne by her husband and goes surety for her husband's debts when she does not bring a free mind and will to that decision. (See eg Howell "'Sexually Transmitted Debt': A Feminist Analysis of Laws Regulating Guarantors and Co-Borrowers" (1994) 4 *Australian Feminist Law Journal* 93; Fehlberg, "The Husband, the Bank, the Wife and Her Signature — The Sequel" (1996) 59 *Modern Law Review* 675; Fehlberg "Women in 'Family' Companies: English and Australian Experiences" (1997) 15 *Company and Securities Law Journal* 348.) The latter case is not so much concerned with imbalances of power as with lack of proper information about the purport and effect of the transaction. The present appeal concerns circumstances of the latter kind rather than the former.

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In *Yerkey v Jones* Dixon J said ((1939) 63 CLR 649, 684):

> But it is clearly necessary to distinguish between, on the one hand, cases in which a wife, alive to the nature and effect of the obligation she is undertaking, is procured to become her husband's surety by the exertion by him upon her of undue influence, affirmatively established, and on the other hand, cases where she does not understand the effect of the document or the nature of the transaction of suretyship. In the former case the fact that the creditor, on the occasion, for example, of the actual execution of the instrument, deals directly with the wife and explains the effect of the document to her will not protect him. Nothing but independent advice or relief from the ascendancy of her husband over her judgment and will would suffice. If the creditor has left it to the husband to obtain his wife's consent to become surety and no more is done independently of the husband than to ascertain that she understands what she is doing, then, if it turns out that she is in fact acting under the undue influence of her husband, it seems that the transaction will be voidable at her instance as against the creditor.

Of the second of the two cases that we have referred to earlier, Dixon J said ((1939) 63 CLR 649, 685–6):

> In the second case, that where the wife agrees to become surety at the instance of her husband though she does not understand the effect of the document or the nature of the transaction, her failure to [406] do so may be the result of the husband's actually misleading her, but in any case it could hardly occur without some impropriety on his part even if that impropriety consisted only in his neglect to inform her of the exact nature of that to which she is willing blindly, ignorantly or mistakenly to assent. But, where the substantial or only ground for impeaching the instrument is misunderstanding or want of understanding of its contents or effect, the amount of reliance placed by the creditor upon the husband for the purpose of informing his wife of what she was about must be of great importance. If the creditor takes adequate steps to inform her and reasonably supposes that she has an adequate comprehension of the obligations she is undertaking and an understanding of the effect of the transaction, the fact that she has failed to grasp some material part of the document, or, indeed, the significance of what she is doing, cannot, I think, in itself give her an equity to set it aside, notwithstanding that at an earlier stage the creditor relied upon her husband to obtain her consent to enter into the obligation of surety. The creditor may have done enough by superintending himself the execution of the document and by attempting to assure himself by means of questions or explanation that she knows to what she is committing herself. The sufficiency of this must depend on circumstances, as, for example, the ramifications and complexities of the transaction, the amount of deception practised by the husband upon his wife and the intelligence and business understanding of the woman. But if the wife has been in receipt of the advice of a stranger whom the creditor believes on reasonable grounds to be competent, independent and disinterested, then the circumstances would need to be very exceptional before the creditor could be held bound by any equity which otherwise might arise from the husband's conduct and his wife's actual failure to understand the transaction: cf per Cussen J (*The Bank of Victoria Ltd v Mueller* [1925] VLR 642, 649).
>
> If undue influence in the full sense is not made out but the elements of pressure, surprise, misrepresentation or some or one of them combine with or cause a misunderstanding or failure to understand the document or transaction, the final question must be whether the grounds upon which the creditor believed that the document was fairly obtained and executed by a woman sufficiently understanding its purport and effect were such that it would be inequitable to fix the creditor with the consequences of the husband's improper or unfair dealing with his wife.

Thus, Dixon J was dealing with two kinds of case. In the former, the case of actual undue influence, as Dixon J says, explaining the effect of the document to the surety will not protect the creditor and

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"[n]othing but independent advice or relief from the ascendancy of her [407] husband over her judgment and will would suffice" ((1939) 63 CLR 649, 684; cf *Bank of New South Wales v Rogers* (1941) 65 CLR 42). In the latter, "[i]f the creditor takes adequate steps to inform [the wife] and reasonably supposes that she has an adequate comprehension of the obligations she is undertaking and an understanding of the effect of the transaction, the fact that she has failed to grasp some material part of the document, or, indeed, the significance of what she is doing" ((1939) 63 CLR 649, 685) cannot give her an equity to set the instrument aside.

The term "unconscionable" does not appear in any of the judgments in *Yerkey v Jones*. In *The Commonwealth v Verwayen* (1990) 170 CLR 394, 446, Deane J said:

> I prefer the word "unconscientious" to "unconscionable" in this and other areas where equity has traditionally intervened to vindicate the requirements of good conscience. In deference to the generally accepted usage of "unconscionable" and "unconscionability" in this area by judges and writers however, I have thought it preferable to use those words in this judgment.

In *Amadio* (1983) 151 CLR 447, 461 (see also Deane J at 474), Mason J said:

> Historically, courts have exercised jurisdiction to set aside contracts and other dealings on a variety of equitable grounds. They include fraud, misrepresentation, breach of fiduciary duty, undue influence and unconscionable conduct. In one sense they all constitute species of unconscionable conduct on the part of a party who stands to receive a benefit under a transaction which, in the eye of equity, cannot be enforced because to do so would be inconsistent with equity and good conscience. But relief on the ground of "unconscionable conduct" is usually taken to refer to the class of case in which a party makes unconscientious use of his superior position or bargaining power to the detriment of a party who suffers from some special disability or is placed in some special situation of disadvantage … Although unconscionable conduct in this narrow sense bears some resemblance to the doctrine of undue influence, there is a difference between the two. In the latter the will of the innocent party is not independent and voluntary because it is overborne. In the former the will of the innocent party, even if independent and voluntary, is the result of the disadvantageous position in which he is placed and of the other party unconscientiously taking advantage of that position.

It was submitted that *Yerkey v Jones* has been overruled by *Amadio* [408] or that the principles applied in *Yerkey v Jones* had been subsumed in principles applied in *Amadio*. There are several answers to this contention. First, there is nothing in *Amadio* that suggests that it was intended to overrule *Yerkey v Jones* or to subsume the rules applied there in some broader principle enunciated in *Amadio*.

Secondly, far from anything said in *Amadio* suggesting that it was intended to mark out the boundaries of the whole field of unconscionable conduct, as Mason J said ((1983) 151 CLR 447, 461): "It goes almost without saying that it is impossible to describe definitively all the situations in which relief will be granted on the ground of unconscionable conduct." Thirdly, *Amadio* was a case of unconscionable conduct very different from the cases considered in *Yerkey v Jones*. In *Amadio* there was actual misconduct on the part of the son of the respondents which affected their entry into the mortgage and guarantee and the bank was on notice of that misconduct. There was no allegation of undue influence by the son with notice on the part of the bank (a situation corresponding to that in *Bank of New South Wales v Rogers* (1941) 65 CLR 42), nor was the alleged case of undue influence on the part of the bank made out. What Mason J identified as "[t]he critical issue" was whether the plaintiffs were entitled to relief on the ground of unconscionable conduct ((1983) 151 CLR 447, 464). The transaction was not enforced against the respondents because it would have been unconscionable for the bank to do so. And it was unconscionable for the bank to enforce it because the bank's employee had shut his eyes to the vulnerability of the respondents and the misconduct of their son ((1983) 151 CLR 447, 467–8 per Mason J, 477–9 per Deane J). The principles applied in

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Yerkey v Jones do not depend upon the creditor having, at the time the guarantee is taken, notice of some unconscionable dealing between the husband as borrower and the wife as surety. *Yerkey v Jones* begins with the recognition that the surety is a volunteer: a person who obtained no financial benefit from the transaction, performance of the obligations of which she agreed to guarantee. It holds, in what we have called the first kind of case, that to enforce that voluntary transaction against her when in fact she did not bring a free will to its execution would be unconscionable. It holds further, in the second kind of case, that to enforce it against her if it later emerges that she did not understand the purport [409] and effect of the transaction of suretyship would be unconscionable (even though she is a willing party to it) if the lender took no steps itself to explain its purport and effect to her or did not reasonably believe that its purport and effect had been explained to her by a competent, independent and disinterested stranger. And what makes it unconscionable to enforce it in the second kind of case is the combination of circumstances that:

(a) in fact the surety did not understand the purport and effect of the transaction;

(b) the transaction was voluntary (in the sense that the surety obtained no gain from the contract the performance of which was guaranteed);

(c) the lender is to be taken to have understood that, as a wife, the surety may repose trust and confidence in her husband in matters of business and therefore to have understood that the husband may not fully and accurately explain the purport and effect of the transaction to his wife; and yet

(d) the lender did not itself take steps to explain the transaction to the wife or find out that a stranger had explained it to her.

To hold, as *Yerkey v Jones* did, that in those circumstances the enforcement of the guarantee would be unconscionable represents no departure from accepted principle. Rather, it "conforms to the fundamental principle according to which equity acts, namely that a party having a legal right shall not be permitted to exercise it in such a way that the exercise amounts to unconscionable conduct" (*Legione v Hateley* (1983) 152 CLR 406, 444 per Mason and Deane JJ citing Story, *Commentaries on Equity Jurisprudence*, 12 ed (1877) vol 2 par 1316. See also *Thompson v Palmer* (1933) 49 CLR 507, 537 per Dixon J; *The Commonwealth v Verwayen* (1990) CLR 394, 441 per Deane J).

It will be seen that the analysis of the second kind of case identified in *Yerkey v Jones* is not one which depends upon any presumption of undue influence by the husband over the wife. As we have said, undue influence is dealt with separately and differently. Nor does the analysis depend upon identifying the husband as acting as agent for the creditor in procuring the wife's agreement to the transaction. Rather, it depends upon the surety being a volunteer and mistaken about the purport and effect of the transaction, and the creditor being taken to have appreciated that because of the trust and confidence between surety and debtor the surety may well receive from the debtor no sufficient explanation of the transaction's purport and effect. To enforce the transaction against a mistaken volunteer when the creditor, the party that seeks to take the benefit of the transaction, has not itself explained the transaction, and does not know that a third party has done so, would be unconscionable … [410] As is implicit in what we have said, we prefer not to adopt the analysis made by Lord Browne-Wilkinson in *Barclays Bank plc* [411] *v O'Brien* which proceeded from identifying "the circumstances in which the creditor will be taken to have had notice of the wife's equity to set aside the transaction" ([1994] 1 AC 180, 195). Sir Anthony Mason has pointed out that:

> constructive notice in O'Brien is used in order to ascertain whether a transaction about to be entered into is impeachable, not so as to fix a person who acquires an interest in the property with knowledge of an antecedent interest in property, that being the traditional function of constructive notice

(Mason, "The Impact of Equitable Doctrine on the Law of Contract" (1998) 27 *Anglo-American Law Review* 1 at 15, footnote omitted.)

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Such an analysis may be required in ordering the priority of competing interests in property but in the present context it may well distract attention from the underlying principle: that the enforcement of the legal rights of the creditor would, in all the circumstances, be unconscionable.

We consider that the only question of notice that arises is whether the creditor knew at the time of the taking of the guarantee that the surety was then married to the borrower. Other questions of notice do not intrude.

As is apparent from what was said in *Yerkey v Jones* the creditor may readily avoid the possibility that the surety will later claim not to have understood the purport and effect of the transaction that is proposed. If the creditor itself explains the transaction sufficiently, or knows that the surety has received "competent, independent and disinterested" (*Yerkey v Jones* (1939) 63 CLR 649, 686 per Dixon J) advice from a third party, it would not be unconscionable for the creditor to enforce it against the surety even though the surety is a volunteer and it later emerges that the surety claims to have been mistaken.

What then of the present case? The trial judge found that the appellant did not understand the purport or effect of the transaction. She knew it was a guarantee but she thought it was a guarantee of limited overdraft accommodation to be applied only in the purchase of gold. Nor did she understand that her obligations under the guarantee were secured by the mortgage which she had given over her home. It being found that the bank took no step to explain the transaction to her and knew of no independent advice to her about it (there having been no such independent advice) the conclusion that the appellant was entitled to succeed in her claim to set the transaction aside was inevitable if she was a volunteer.

The trial judge found that the appellant was not "directly involved" in Citizens Gold (1993) 5 BPR 11,996, 12,006. And he made this finding notwithstanding that the surety was shown in records held by the Australian Securities Commission to be both a director of, and a shareholder in, the company. The records of Citizens Gold held at the Australian [412] Securities Commission presented, however, a confusing picture of movements in shareholdings over the years: so confusing that the trial judge said that it could be "seen from the records that the exact beneficial holding in the various companies (including Citizens Gold) is quite obscure" (1993) 5 BPR 11,996, 12,005. Although the trial judge found that from time to time some benefit flowed to the family from the companies, he found that they were companies that were in the "complete control" of the appellant's husband. Taken as a whole, those findings demonstrate that the appellant in fact obtained no real benefit from her entering the transaction; she was a volunteer. The fact that she was a director of the company is nothing to the point if, as the trial judge's findings show, she had no financial interest in the fortunes of the company.

We would therefore allow the appeal.

[37.20] KIRBY J: [His Honour expressed the opinion that the principle stated by Dixon J In *Yerkey* did not represent a ruling of the High Court. He then proceeded to give reasons why the principle should in any event be rejected.]

[421] [W]hy should this Court, in 1998, endorse a principle expressed to apply specifically to one class of citizens only, namely "married women"? For several reasons it should not. It should instead search for, and identify, a broader principle which is not confined to one group whose members have attributed to them particular needs and vulnerabilities which are certainly not confined to that group and which, in many cases, will not be present in members of that group. The classification is at once too narrow and too broad. Too narrow, for "[i]t is not based on and it inhibits a more developed understanding … of the broad features of social inequality in Australia". Too broad, for it ignores "the diversity of the experiences of women in Australia" (Australian Law Reform Commission, *Equality Before the Law: Women's Equality* (ALRC 69, Part II), (1994) at 249). It may have accommodated a perceived problem when Dixon J wrote his opinion in *Yerkey* in 1939. It is inappropriate to Australian circumstances today. It should not now receive the endorsement of this Court.

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Historical anachronism

The first reason for rejecting Dixon J's supposed principle in *Yerkey* is that, even in 1939, it represented an historical anachronism …. Central to Dixon J's statement of principle in *Yerkey* are the equitable doctrines that arose out of the inability of married women to deal with property at common law … [422] These equitable principles established for the benefit of married women prior to the Married Women's Property Acts, and not, as such, the trust and confidence between marriage [423] partners, form the true basis of the supposed rule in *Yerkey*. Today, the capacity of a married woman to deal with her property freely as a feme sole is long established …

One particular need for deriving a new principle rather than following the supposed rule in *Yerkey* is that, since Dixon J expounded the latter in 1939, there have been enormous social changes relevant to women, married women and domestic relationships more generally. The anomalous character of the supposed rule in *Yerkey* is clear when it is remembered that the presumption does not, as stated, protect other classes of sureties in arguably analogous positions. For example, it gives no protection to a de facto spouse, an unmarried child in a position of dependence, a parent who is vulnerable to pressure from a child or a companion of either sex having a long-term domestic relationship with the borrower, the existence of which might easily have been elicited by acceptable questioning by the credit provider (Lehane, "Undue Influence, Misrepresentation and Third Parties", (1994) 110 *Law Quarterly Review* 167 at 169) … [424]

Rejecting discriminatory stereotypes

A principle which accords to all married women a "special equity" based on their supposed need for protection rests upon a stereotype of wives to which this Court should give no endorsement. All persons of capacity, including married women, should ordinarily conform to commercial transactions which they enter unless statute or judicial law affords relief. Marriage, and being the female member to a marriage, is not, as such, a relevant reason for relief from legal obligations. Some additional or different basis is required if relief is to be afforded. Whatever may have been the position in Australian society of 1939, it is offensive to the status of women today to suggest that all married women, as such, are needful of special protection supported by a legal presumption in their favour. Other cohabitees of a borrower may, in particular circumstances, be in a position at least as vulnerable as some wives. Some may be more so…. [425]

Marriage is not a suspect category

Given the rejection by our law of the notion that a presumption of undue influence arises from the relationship of marriage, it is inconsistent to persist with a presumption which rests upon the "invalidating tendency" by which a court will be more ready to find that a husband had exercised undue influence over his wife than in other cases ….

Economic arguments

In *O'Brien*, the House of Lords, after [426] rejecting the reasoning of Dixon J in *Yerkey*, referred to an additional economic argument ([1994] 1 AC 180, 188):

> Wealth is now more widely spread. Moreover a high proportion of privately owned wealth is invested in the matrimonial home. Because of the recognition by society of the equality of the sexes, the majority of matrimonial homes are now in the joint names of both spouses. Therefore in order to raise finance for the business enterprises of one or other of the spouses, the jointly owned home has become a main source of security. The provision of such security requires the consent of both spouses …. [There is a] need to ensure that the wealth currently tied up in the matrimonial home does not become economically sterile …. It is therefore essential that a law designed to protect the vulnerable does not render the matrimonial home unacceptable as security to financial institutions ….

There is yet another economic reason which Professor Cretney (Cretney, "The Little Woman and the Big Bad Bank", (1992) 108 *Law Quarterly Review* 534 at 538–9) has mentioned. He described it as a "more disturbing implication" of affording a specially protected status to married women, whatever

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the facts of their vulnerability or lack thereof. This is, that such a principle is likely to encourage a particular category of borrowers, and those associated with them, to seek to escape their lawful obligations by challenging the adequacy of the explanations given to their wives for the documents they have signed, beyond the protection now amply provided by statute (cf *National Westminster Bank plc v Morgan* [1985] AC 686, 708 per Lord Scarman) …

Unacceptable discrimination

There is a final reason for rejecting the special equity found by Dixon J in *Yerkey*. Since 1939, Australian society and its legal systems have moved away from irrelevant discrimination, whether on the ground of sex, matrimonial status or otherwise (*Sex Discrimination Act* 1984 (Cth) ss 5, 6, 7D(1)) … The stereotype underlying *Yerkey* may hold true for some, perhaps even a significant number of, wives. But this Court should, where possible, refuse to "classify unnecessarily and overbroadly by gender when more accurate and impartial" principles can be stated (*Miller v Albright* 66 USLW 4266 (1998) per Ginsburg J).

[429] With respect to those who are of the contrary view, I could not agree to endorsing the principle stated by Dixon J in *Yerkey*, limited as it is to married women. This Court should not adopt such criteria. As a matter of legal authority, it is not bound to do so. As a matter of legal principle, it should not do so …

[430] The majority in their reasons have shown that *Amadio* was not intended, or aptly expressed, to cover the whole field of unconscionable conduct. The fact that the *Amadio* principle is incapable of protecting volunteers who, because of the vulnerability of their personal relations with a borrower, and the lack of advice and information, bind themselves to a potentially prejudicial transaction, has been demonstrated several times … I favour a re-formulation of the principle expressed by Lord Browne-Wilkinson in *O'Brien*. It is my view that the principle should be stated thus: Where a person has entered into an obligation to stand [431] as surety for the debts of another and the credit provider knows, or ought to know, that there is a relationship involving emotional dependence on the part of the surety towards the debtor (in *Wilkinson v ASB Bank Ltd* [1998] 1 NZLR 6744, 691, the New Zealand Court of Appeal expressed the relationship as involving an emotional tie or dependence on the part of the guarantor towards the principal debtor):

(1) the surety obligation will be valid and enforceable by the credit provider unless the suretyship was procured by the undue influence, misrepresentation or other legal wrong of the principal debtor;

(2) if there has been undue influence, misrepresentation or other legal wrong by the principal debtor, unless the credit provider has taken reasonable steps to satisfy itself that the surety entered into the obligation freely and in knowledge of the true facts, the credit provider will be unable to enforce the surety obligation because it will be fixed with notice of the surety's right to set aside the transaction;

(3) unless there are special exceptional circumstances or the risks are large, a credit provider will have taken such reasonable steps to avoid being fixed with constructive notice if it warns the surety (at a meeting not attended by the principal debtor) of the amount of the surety's potential liability, of the risks involved to the surety's own interests and advises the surety to take independent legal advice. Out of respect for economic freedom, the duty of the credit provider will be limited to taking reasonable steps only …

In this way, equity is capable of affording a principle for relief in cases of this kind which (1) is expressed in non-discriminatory terms; (2) is addressed to the real causes of the vulnerability; and (3) recognises the credit provider's superior powers to insist that volunteers in a vulnerable position are afforded access to relevant information and, where necessary, independent advice. The House of Lords concluded in this general way in *O'Brien*. This Court should follow and adopt that decision. It is applicable to the circumstances of this case … [T]he credit provider will be fixed with constructive notice if it knows facts sufficient to put it on inquiry as to the possibility of wrongdoing by the debtor and it fails to inquire. In *Bank of New South Wales v Rogers* (1941) 65 CLR 42, for example, the debtor was the surety's uncle with whom she was in a long-standing relationship of dependency. It was

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held that the credit provider knew enough about their relationship to put it on inquiry as to the circumstances in which the guarantee was given …

A credit provider will be put on inquiry by a combination of two factors: (1) the transaction is not on its face to the personal financial advantage of the party offering the security; and (2) there is a relationship which is known, or which ought to be known, by the credit provider involving an emotional dependency on the part of the surety towards the debtor (*O'Brien* [1994] 1 AC 180, 196) …

[434] When I turn to apply the principle in *O'Brien*, modified in the way that I have re-expressed it, I consider that (although for reasons different than he expressed), the orders of the primary judge were correct. The Bank knew, or could readily have discovered, that [435] Mrs Garcia reposed trust and confidence in her husband in relation to her financial affairs. Mrs Garcia was thus in a position of potential vulnerability to demands that she should act as a surety, even if the Bank had no reasonable means of knowing the details of the particular stresses of her personal relationship. Breakdown of personal relationships is sufficiently common in Australia to have alerted a credit provider, such as the Bank, to the potentiality of this surety's vulnerability. This is particularly so where (as here) a domestic home in which the borrower lived was put at risk by the surety arrangements. The Bank could readily, without unduly intrusive questions, have discovered the nature of the parties' relationship. It was already aware that they were cohabitees. Formalities and public declaration of their relationship (assuming the latter to be possible and appropriate) would not be necessary. Sufficient that basic questioning disclosed a transaction on its face of little or no specific advantage to the proposed surety and that such party stood at high risk in relation to the roof over her head.

Misrepresentation by Mr Garcia to his wife being established, together with constructive notice of the potential vulnerability of the wife, the Bank is unable to enforce the surety obligation against her because it is fixed with constructive notice of her right to set aside the transaction having regard to its failure to take reasonable steps to satisfy itself that she entered the obligation freely and with knowledge of the relevant facts. It is here that the principal weakness in the Bank's case is obvious. As the primary judge found, in this case the Bank's ordinary procedures were not followed. Mrs Garcia was given no advice or explanation of the documents which she was signing. Still less was she told to seek independent advice or that such evidence would be a pre-condition to the Bank's acceptance of her guarantee. The fact that she was a director of the company and that she presented as an "intelligent articulate lady" in a professional position is certainly relevant. But it is not ultimately determinative. To the knowledge of the Bank, the home in which she lived was being placed in jeopardy. The Bank failed to insist that she was made fully aware of that risk. In such circumstances, there being no exceptional reasons to hold otherwise, the Bank was unable to enforce the surety obligation. Although the case is not clear cut and some of the evidence supported the Bank's arguments, I have concluded that the primary judge was right to hold as he did. Banks and other credit providers can protect themselves from this result. Most already do so …

[436] I agree in the orders proposed.

[37.25] CALLINAN J: [His Honour expressed the view that the principles stated by Dixon J in *Yerkey* had not been dissented from by the other judges in that case, and that those principles, accepted as part of Australian law, had served the ends of justice for a long time. Further, they had not been overruled or subsumed by *Amadio*.]

[442] As extensive as the changes – perhaps more apparent than real – in sexual and matrimonial relationships may in recent times have been, I would not wish in this case to attempt to state a principle to encompass all cases. Indeed, given the diversity of human relationships, it would not only be imprudent but probably also impossible to do so. I would not, with respect, adopt the principle settled by the House of Lords in *Barclays Bank plc v O'Brien*, that any exceptional rules formerly applicable to guarantees by wives of husbands' obligations should be extended to co-habitees in cases in which the creditor is aware of an emotional relationship between the co-habitees. Such a principle might, in some circumstances (leaving aside potential difficulties associated with the proof and definition of an emotional relationship) narrow the range of people deserving of protection by

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reason of their occupation of a special position, or the suffering of a special disability of the kind considered by the Court in *Amadio*. Indeed, this may, in any event, be an area more fit for legislative than judicial intervention.

The trial judge in this case made two critical findings in favour of the appellant:

> In the instant case, the husband pressured the wife to sign the document. She appeared to have done so because her husband consistently pointed out what a fool she was in commercial matters whereas he was an expert, and because she was trying to save her marriage.

(*Garcia v National Australia Bank Ltd* (1993) 5 BPR 11,996 at 12,009 per Young J.)

> Accordingly we have here a situation where Mrs Garcia was informed by her husband that there would be no risk, she signed the guarantee on that basis and were it not for something that happened thereafter, there would have been no problem.

(*Garcia v National Australia Bank Ltd* (1993) 5 BPR 11,996 at 12,011 per Young J.) These two findings as to pressure and misrepresentation are almost precisely within the language used by Dixon J in *Yerkey* (1939) 63 CLR 649, 686:

> If undue influence in the full sense is not made out but the [443] elements of pressure, surprise, misrepresentation or some or one of them combine with or cause a misunderstanding or failure to understand the document or transaction, the final question must be whether the grounds upon which the creditor believed that the document was fairly obtained and executed by a woman sufficiently understanding its purport and effect were such that it would be inequitable to fix the creditor with the consequences of the husband's improper or unfair dealing with his wife …

Very rarely will such findings as were made here, be open in the case of a wife with the qualifications, experience and other attributes possessed by this appellant. One aspect of the change that has occurred in the enhancement of women's opportunities and relief from discrimination is that in practice, wives may find it more difficult to satisfy a court that they have succumbed to pressure or have been misled by their husbands in financial matters. I do not doubt however that there are likely today to be many married women still in need of the special protection that *Yerkey* offers. Furthermore I do not think that there is any injustice to a lender in requiring it to be diligent in the way in which *Yerkey* prescribes in the case of married women who enter into transactions advantageous to husbands or legal personalities controlled by them, but which are disadvantageous or potentially so to the wife. No occasion arises in this case to express any different principles from those stated in *Yerkey*. On his findings the learned trial judge was bound to apply *Yerkey* and correctly did so. I would uphold the appeal and agree with the orders of Gaudron, McHugh, Gummow and Hayne JJ.

Appeal allowed.

[37.30] Notes

1. In the principal case, Kirby J declared the importance of gender-neutral principles, whereas Callinan J adopted gender-specific principles. The joint judgment of the remaining judges presents a gender-neutral rationale for the rule in *Yerkey*. A question arises as to which approach best forwards the cause of equality for women. Some feminists, who support the view that women are "different" from men, and who believe that the law must take that difference into account, might support Callinan J's approach. Other feminists, who

support the view that there are no significant differences between men and women, and who believe that legal distinctions between the sexes should be eliminated, might support Kirby J's approach. Yet other feminists might take the view that both these approaches fail to focus on the main reality, which is the subordination of women to men and, in particular, the economic inequality in marriage.

2. The ruling in *Barclays Bank plc v O'Brien* [1994] 1 AC 80 (adopted in modified form by Kirby J in the principal case) failed to forestall a substantial amount of litigation in England in subsequent years. However, further guidance for both lenders and solicitors acting for sureties was given by the House of Lords in *Royal Bank of Scotland plc v Etridge (No 2)* [2001] UKHL 44; [2002] 2 AC 773.

3. Different views have been expressed in the lower courts as to the type of relationships to which the principles in *Yerkey* might apply. In *Kranz v National Australia Bank Ltd* [2003] VSCA 92; (2003) 8 VR 310, [24]–[31], the Court of Appeal of the Supreme Court of Victoria held that the principles would apply where the lender was aware of a relationship of "trust and confidence" between the guarantor and the borrower. See also *Agripay Pty Limited v Byrne* [2011] QCA 85, [4]; *McIvor v Westpac Banking Corporation* [2012] QSC 404, [104]. However, in *Permanent Mortgages Pty Ltd v Vandenbergh* [2010] WASC 10, [197], Murphy J refused to extend the principles to the relationship of aged parent/child. A different view was expressed in *State Bank of New South Wales Ltd v Layoun* [2001] NSW ConvR 55-984, [74]–[76]; *Siglin v Choules* [2002] WASCA 9; *Australian Regional Credit Pty Ltd v Mula* [2009] NSWSC 325, [138]–[139]; *McIvor v Westpac Banking Corporation* [2012] QSC 404, [104]; *Alceon Group Pty Ltd v Rose* [2015] NSWSC 868.

CHAPTER ***38***

Unconscionable conduct under statute

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[38.45] SECTION 21: STATUTORY UNCONSCIONABLE CONDUCT 1102
[38.50] *Australian Securities and Investments Commission v Kobelt* 1102

THE STATUTORY PROHIBITION ON UNCONSCIONABLE CONDUCT

[38.05] Part 2-2 of the *Australian Consumer Law* (ACL) contains broad prohibitions on unconscionable conduct in trade or commerce, replacing those in ss 51AA, 51AB and 51AC of the *Trade Practices Act 1974* (Cth) (TPA). Under the ACL, and unlike the TPA, the prohibition on unconscionable conduct applies to persons, not merely corporations, in trade or commerce. (The meaning of this phrase is discussed in Chapter 33 in relation to misleading and deceptive conduct.) Case law dealing with the prohibitions on unconscionable conduct under the TPA remains relevant in determining the scope of the prohibition on unconscionable conduct under the ACL.

The prohibitions on unconscionable conduct in the ACL are supplemented in New South Wales by the *Contracts Review Act 1980* (Cth), which provides relief against "unjust contracts", which is also considered in this Chapter.

Financial services

[38.25] Section 131A provides that the ACL does not apply "to the supply, or possible supply, of services that are financial services, or of financial products". These transactions are regulated under the *Australian Securities and Investments Commission Act 2001* (Cth). Sections 12CA, 12CB and 12CC of the *Australian Securities and Investments Commission Act 2001* replicate ss 20, 21 and 22 of the ACL respectively.

Redress and remedies

[38.30] Remedies available for unconscionable conduct under the ACL include: undertakings (Pt 5-1, Div 1), substantiation notices (Pt 5-1, Div 2), public warning notices (Pt 5-1, Div 2), injunctions (s 232), damages (s 236), compensatory orders (Pt 5-2, Div 4, subdiv A and C), redress for non-parties (Pt 5-2, Div 4, subdiv B and C) and non-punitive orders (Pt 5-2, Div 5, s 246). In addition courts may order the payment of a civil pecuniary penalty for a contravention of the provisions precluding unconscionable conduct (s 224).

The remedies for violation of the prohibitions in Pt 2-2 of the ACL are discussed in Chapter 33 in relation to the prohibition on misleading and deceptive conduct. While there is

little case law on this issue, it may be presumed that similar principles would apply to govern the application of the remedial provisions in the ACL to contraventions of the statutory prohibitions on unconscionable conduct.

SECTION 20: UNCONSCIONABLE CONDUCT "WITHIN THE MEANING OF THE UNWRITTEN LAW"

[38.33] Section 20 provides:

> (1) A person must not, in trade or commerce, engage in conduct that is unconscionable, within the meaning of the unwritten law from time to time.

Under subs (2), s 20 does not apply to conduct that is prohibited by s 21. Section 21 applies to sales and acquisitions of goods and services in trade or commerce.

Until 2019 s 21 did not apply to conduct involving a listed public company and a number of business to business claims of unconscionable conduct were brought under this section, such as, for example, *Australian Competition and Consumer Commission v CG Berbatis Holdings Pty Ltd* [2003] HCA 18; (2003) 214 CLR 51. With the removal of this limitation, there are now very few, if any, transactions to which s 20 will apply.

SECTION 21: STATUTORY UNCONSCIONABLE CONDUCT

[38.45] Section 21 of the ACL provides that:

> A person must not, in trade or commerce, in connection with:
>
> (a) the supply or possible supply of goods or services to a person; or
>
> (b) the acquisition or possible acquisition of goods or services from a person;
>
> engage in conduct that is, in all the circumstances, unconscionable.

Note that, unlike the provisions in the *Trade Practices Act 1974* (Cth), ss 21, 51AB and 51AC does not distinguish between unconscionable conduct in business to consumer and business to business transactions. Unconscionable conduct under s 21 is not defined. Section 21(4) contains a set of interpretative principles guiding the courts' application of s 21.

Section 22 contains a list of considerations to which the court may have regard in determining whether conduct is unconscionable.

In addition to the case extracted below, the statutory prohibition on unconscionable conduct is considered in *Paciocco v Australia and New Zealand Banking Group Ltd* [2016] HCA 28; 258 CLR 525, at [28.85].

Australian Securities and Investments Commission v Kobelt

[38.50] *Australian Securities and Investments Commission v Kobelt* [2019] HCA 18 (High Court of Australia) – Appeal from Federal Court of Australia.

[FACTS: Section 12CB of the *Australian Securities and Investments Commission Act 2001*, provided:

> (1) A person must not, in trade or commerce, in connection with:
>
> (a) the supply or possible supply of financial services to a person (other than a listed public company); or
>
> (b) the acquisition or possible acquisition of financial services from a person (other than a listed public company);
>
> engage in conduct that is, in all the circumstances, unconscionable ….

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Mr Kobelt supplied credit to purchasers at his general store in a remote Aboriginal community, selling goods such as food, groceries, fuel and second-hand cars. Primarily for indigenous customers, the Anangu people, Mr Kobelt provided credit to a "book-up" system. This credit was typically used to fund the purchase of second-hand cars from Mr Kobelt. The customers lacked financial sophistication and were impoverished. The customers supplied Mr Kobelt with a debit card linked to their bank accounts and gave him their personal identification numbers. Mr Kobelt would then access their accounts and withdraw funds. He typically did this early in the morning on the day wages or Centrelink payments were credited to the customers. Mr Kobelt would keep half of the customer's regular income as repayment of their debt and the other half was made available on an informal basis for the customer's use. Generally, customers who had no funds left in their bank accounts were allowed to purchase only milk, bread and meat. If a customer paid for a vehicle in cash, the purchase price was discounted by around $1,000. No records of withdrawals or account statements were given. The appellant brought proceedings against the respondent in the Federal Court of Australia alleging contraventions of s 29(1) of the *National Consumer Credit Protection Act 2009* (Cth), engaging in credit activities without a licence, and s 12CB of the *Australian Securities and Investments Commission Act 2001*, pleading a system or pattern of conduct by reference to the supply of book-up credit to 117 of the respondent's Anangu customers.

The primary judge found that Mr Kobelt had contravened s 29(1) and engaged in a system of conduct or pattern of behaviour which was unconscionable. On the respondent's appeal to the Full Court of the Federal Court of Australia, the primary judge's finding of unconscionable conduct was set aside. The sole issue on appeal to the High Court of Australia was whether the respondent's conduct was "in all the circumstances, unconscionable" in contravention of s 12CB(1) of the *Australian Securities and Investments Commission Act 2001*.]

KIEFEL CJ AND BELL J:

Introduction

[1] Residents of some Aboriginal communities located in rural and remote Australia have been accustomed to obtaining credit from storekeepers under arrangements known as "book-up". Under these arrangements, the customer may be required to give the storekeeper the debit card ("keycard") linked to the bank account to which the customer's wages or Centrelink payments are credited, and to disclose the personal identification number ("PIN") for the keycard. The storekeeper is authorised to withdraw funds from the customer's account in reduction of the customer's debt and in return for the supply of goods over the interval between the customer's "pay days".

[2] Book-up credit appears to have developed in association with the extension of social security entitlements to Aboriginal Australians in the late 1950s. Initially, arrangements might have been made for the recipient's social security cheque to be posted to a nominated store in the expectation that it would be cashed in the store and the proceeds applied to the purchase of goods from the store over the course of the succeeding fortnight. The change to the supply of the customer's keycard and PIN is suggested to have come about as the result of changes in the way Centrelink payments and other periodic payments are made.

[3] In 2002, the Australian Securities and Investments Commission ("ASIC") commissioned a report on problems associated with book-up credit ("the Renouf report"). The author observed that, in the absence of alternative appropriate financial services, [749] book-up is often the only means for Aboriginal consumers to obtain access to credit. Book-up credit was described in the Renouf report as "a convenient way of managing money over a fortnightly or weekly payment cycle for consumers who lack financial management skills or are affected by cultural pressure to immediately share resources when they are available".

[4] The issue presented by the appeal is whether the supply of credit to the residents of remote communities in the Anangu Pitjantjatjara Yankunytjatjara Lands ("the APY Lands"), under the book-up system maintained by the respondent, Mr Kobelt, contravened the proscription of unconscionable conduct fixed by s 12CB(1) of the *Australian Securities and Investments Commission Act 2001* (Cth) ("the ASIC Act").

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Sections 12CB and 12CC of the ASIC Act

[5] In the form in which it was in force from 1 January 2012 to 25 October 2018 (The provision was further amended with effect from 26 October 2018 by the *Treasury Laws Amendment (Australian Consumer Law Review) Act 2018* (Cth), Sch 2 items 1-2 by omitting the words "(other than a listed public company)" from s 12CB(1)(a)-(b) and omitting s 12CB(5)), s 12CB relevantly provided:

(1) A person must not, in trade or commerce, in connection with:

(a) the supply or possible supply of financial services to a person (other than a listed public company); or

(b) the acquisition or possible acquisition of financial services from a person (other than a listed public company);

engage in conduct that is, in all the circumstances, unconscionable.

…

(3) For the purpose of determining whether a person has contravened subsection (1):

(a) the court must not have regard to any circumstances that were not reasonably foreseeable at the time of the alleged contravention; and

(b) the court may have regard to conduct engaged in, or circumstances existing, before the commencement of this section.

(4) It is the intention of the Parliament that:

(a) this section is not limited by the unwritten law of the States and Territories relating to unconscionable conduct; and

(b) this section is capable of applying to a system of conduct or pattern of behaviour, whether or not a particular individual is identified as having been disadvantaged by the conduct or behaviour; and

(c) in considering whether conduct to which a contract relates is unconscionable, a court's consideration of the contract may include consideration of:

(i) the terms of the contract; and

(ii) the manner in which and the extent to which the contract is carried out;

and is not limited to consideration of the circumstances relating to formation of the contract.

[6] Section 12CC(1) contains a non-exhaustive statement of matters to which the court may have regard for the purpose of determining whether a person has contravened s 12CB in connection with the supply, or possible supply, of financial services. Relevantly, these include:

(a) the relative strengths of the bargaining positions of the supplier and the service recipient; and

(b) whether, as a result of conduct engaged in by the supplier, the service recipient was required to comply with conditions that were not reasonably necessary for the protection of the legitimate interests of the supplier; and

(c) whether the service recipient was able to understand any documents relating to the supply or possible supply of the financial services; and

(d) whether any undue influence or pressure was exerted on, or any unfair tactics were used against, the service recipient or a person acting on behalf of the service recipient by the supplier or a person acting on behalf of the supplier in relation to the supply or possible supply of the financial services; and

(e) the amount for which, and the circumstances under which, the service recipient could have acquired identical or equivalent financial services from a person other than the supplier; and

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…

(j) if there is a contract between the supplier and the service recipient for the supply of the financial services:

(i) the extent to which the supplier was [750] willing to negotiate the terms and conditions of the contract with the service recipient; and

(ii) the terms and conditions of the contract; and

(iii) the conduct of the supplier and the service recipient in complying with the terms and conditions of the contract; and

…

(l) the extent to which the supplier and the service recipient acted in good faith.

…

[Kiefel CJ and Bell J outlined the procedural history of the case.]

…

Mr Kobelt's book-up system

[20] Mr Kobelt has had limited education and has lived in a remote community for significant parts of his working life. From the mid-1980s, he operated a general store in Mintabie, South Australia, under the name "Nobbys Mintabie General Store" ("Nobbys"). Mintabie is situated in the far north of South Australia, approximately 1,100 km from Adelaide in an area excised by lease to the Government of South Australia from the APY Lands. A range of goods including food, groceries, fuel and second-hand cars was sold at Nobbys. Almost all of Mr Kobelt's customers were Anangu persons who resided predominantly in two remote communities, Mimili and Indulkana, north-west of Mintabie in the APY Lands. These customers were characterised by their poverty and their low levels of literacy and numeracy which, relevantly, meant that they lacked "financial literacy".

[21] Mr Kobelt supplied credit to his Anangu customers under a book-up system by which payment for goods was deferred in whole or in part subject to the customer supplying Mr Kobelt with the keycard and PIN linked to the account into which the customer's wages or Centrelink payments were credited. Generally, Mr Kobelt retained possession of the keycard until the debt was repaid, although on occasions Mr Kobelt returned a customer's keycard notwithstanding that the debt had not been repaid. This might happen if the customer was travelling away from the APY Lands. On such occasions, the customer returned the keycard to Nobbys on his or her return. There were two other stores in Mintabie and at least one of these stores provided credit to Anangu customers under a book-up scheme that did not materially differ from that provided by Mr Kobelt.

[22] Mr Kobelt, or members of his family who assisted in the running of Nobbys, used the keycard and PIN to access the customer's account and to withdraw the whole or nearly the whole of the available funds ("the withdrawal conduct"). The majority of withdrawals were made early in the morning, before or shortly after Nobbys opened, on the day funds were credited to the account. Withdrawals were made promptly to prevent the customer having any practical opportunity to access the monies in the account by internet or telephone banking. Mr Kobelt did not know the amount in a customer's account and the process of withdrawing funds was one of trial and error. There were occasions when funds had been withdrawn in excess of a limitation placed on Mr Kobelt's authority.

[23] Customers were not required to complete any form of application to obtain book-up credit and additional credit was available under the book-up system without further formality. The withdrawal of funds from Mr Kobelt's customers' accounts was authorised and was subject to an informal understanding that part of the funds would be applied in reduction of the customer's debt and part was in exchange for the provision of future goods and services. Mr Kobelt applied at least 50 per cent of the funds withdrawn from his customers' accounts to reduce their indebtedness to Nobbys. Mr Kobelt said that the remaining 50 per cent of his customers' funds was available for the

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customer's use. Mr Kobelt did not apply the customers' "entitlement" to 50 per cent of the funds in a literal way; 50 per cent served Mr Kobelt as a guideline for the maximum amount available to the customer's use ("the book-down").

[24] Mr Kobelt exercised control over the amount of the book-down, limiting his customers to amounts of $100, $150 or $200 to ensure that they would have "something" at the end of the week. Mr Kobelt's discretionary control over his book-up customers extended on occasions to the refusal to allow the customer to buy sweets or chips. The primary judge accepted Mr Kobelt's evidence that he had never refused to supply food to a customer from whose account he had withdrawn all the money. Generally, such customers were limited to the purchase of milk, bread and meat.

[25] Anangu customers had to travel a considerable distance to shop at Nobbys. Mr Kobelt issued purchase orders which enabled his book-up customers to purchase goods, or to obtain cash, at other stores. Purchase orders were transmitted by Mr Kobelt to nominated stores and were issued in amounts ranging from $20 to $500. The customer was able to purchase goods, or obtain cash, at the nominated store and Mr Kobelt settled with the store owner. Mr Kobelt charged customers a fee of $5 or $10 for the issue of a purchase order. The fee was less than the fee charged by Australia Post for its express money order service. Mr Kobelt also provided customers with cash advances under the book-up system. At least some customers who were given a cash advance paid a fee for the service.

[26] Most of the book-up credit provided by Mr Kobelt to his Anangu customers was made in connection with the sale of second-hand motor vehicles. The sale of these vehicles formed a significant part of Mr Kobelt's business. The vehicles sold at Nobbys often had been driven in excess of 200,000 km and were not subject to any statutory warranty of repair. In some instances, purchasers paid for a vehicle in cash. In these instances, the purchase price was discounted by around $1,000. More commonly, Anangu customers paid a deposit of between $440 and $3,500 and the balance of the purchase price was repaid under the book-up system.

[27] Mr Kobelt maintained that he did not impose any credit charge on goods sold to his Anangu customers. The primary judge rejected Mr Kobelt's evidence in this respect in relation to the sale of second-hand motor vehicles. His Honour found that cash-paying customers were able to purchase a Nobbys vehicle at a price around $1,000 less than the stated price. In truth, his Honour found that book-up customers purchasing second-hand vehicles at Nobbys, for an average price of $5,600, were paying an expensive credit charge. His Honour's conclusion that Mr Kobelt's conduct was unconscionable took into account the fact that the credit charge had not been made explicit to his book-up customers (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [551]).

[28] The evidence did not establish whether car dealers in Alice Springs and Port Augusta, with whom Mr Kobelt compared the prices for his cars, and whom he regarded as his competitors, sold cars to Anangu persons on credit. The majority of Mr Kobelt's Anangu book-up customers did not own assets which could be pledged as security for a loan. The primary judge recognised that it would have been difficult for Mr Kobelt's Anangu customers to obtain loans from commercial lenders. His Honour acknowledged that an advantage of Mr Kobelt's book-up system was that it provided a relatively simple means by which Anangu persons could obtain credit that would not otherwise be available to them (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [510]).

[29] Mr Kobelt knew most of his Anangu customers and he was aware of their financial circumstances. He did not make inquiries about his Anangu customers' capacity to repay the balance of the purchase price of a second-hand car or other consumer good before entering into book-up credit arrangements with the customer. Over a period of ten years, Mr Kobelt had only refused to extend book-up credit to about 12 to 15 customers. He had a total customer base of 600 Anangu persons, of whom about 200 visited his store each week.

[30] Mr Kobelt's Anangu customers had the capacity to frustrate their book-up credit contracts by cancelling their keycard or by arranging for their Centrelink payments, or wages, to be credited to a

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different account. Some customers had done so. In those cases, with one exception, Mr Kobelt had chosen not to pursue any avenues of debt recovery. He appreciated that it was not in his commercial or reputational interest to do so.

[31] Mr Kobelt had an unsophisticated approach to many matters, which was manifest in his book-up arrangements. His record-keeping was rudimentary. Such records as he kept of book-up transactions were illegible or only barely legible. Entries were so cramped and chaotic that it was difficult to understand fully the state of the running accounts of the 117 book-up customers at any given time. Customers were not given any record of withdrawals or account statements. There was no evidence that any customer had asked to examine Mr Kobelt's records of book-up transactions. Had such an inquiry been made, the customer would have had considerable difficulty understanding the entries and no means of checking their accuracy. There was no suggestion, however, that Mr Kobelt maintained his records dishonestly, nor was it part of ASIC's system case that the withdrawal of funds from customers' accounts was not authorised. And Mr Kobelt's Anangu customers had a basic understanding of his book-up credit system.

The anthropological evidence

[32] ASIC adduced evidence from Dr Martin, an anthropologist, who at ASIC's request visited Mimili and Indulkana and interviewed a number of Mr Kobelt's Anangu customers. In his report, Dr Martin explained the "intersection between the distinctive Anangu society and culture of the APY Lands, and the wider Australian society and its culture and institutions (including the legal and financial systems)", observing that there are "varying degrees of incommensurability" between Anangu values and practices and those of the wider Australian society. Dr Martin stated that the Anangu have adapted their values and practices to accommodate those of the market economy through the personalisation of financial transactions, that is, Anangu consumers prefer to conduct financial transactions through the use of brokers, such as storekeepers. The face-to-face contact involved in the supply of book-up credit, as distinct from reliance on paperwork, was perceived by Dr Martin's Anangu interviewees as consistent with Anangu customs.

[33] As Dr Martin explained the phenomenon, Anangu customers entrusted Mr Kobelt with their keycards to enable them to exercise "agency" in the sense of the capacity to act and to exercise choice in what was perceived to be the individual's own interests. Several interviewees reported "that they supported book-up in general and were positively disposed to Nobby's Credit Facility in particular". Dr Martin got no sense that any of the individuals whom he interviewed "felt that the terms on which Nobby's provided credit to them were unjust, unfair, or unreasonable".

[34] Dr Martin explained that motor vehicles have come to be central to social, ceremonial and economic life among Aboriginal communities in the APY Lands; they provide access to country necessary for hunting and gathering, visiting kin in other communities, increased shopping opportunities away from communities, attending sporting fixtures, attending medical appointments and, importantly, participation in initiation and funerals. Anangu interviewees told Dr Martin that book-up was the only means by which they could purchase a vehicle.

[35] Apart from enabling impoverished Anangu customers to acquire second-hand motor vehicles and other consumer goods on credit, the anthropological evidence pointed to book-up credit as having two particular advantages in light of Anangu culture and practices. Dr Martin explained that it is common for the Aboriginal residents of remote communities to spend money as it becomes available without regard to the medium- to long-term consequences of the expenditure (the "boom and bust cycle"). The primary judge acknowledged that the limitation that Mr Kobelt placed on the amount which the customer could expend by way of book-down had a beneficial effect in ameliorating the boom and bust cycle.

[36] Dr Martin also explained that an embedded social obligation of the Anangu requires that they share their resources with specific categories of kin ("humbugging" or "demand sharing"). The obligation is a foundational principle of Anangu life: the giver has a responsibility to share and the recipient the right to share, even to the point of demanding a share. The primary judge found that

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money is the subject of demand sharing and Anangu persons who are believed to have access to money may be importuned to the extent of being bullied and exploited to share it. In this respect his Honour referred to the account of a financial counsellor, Mr Stauner (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [576]):

> Humbug [is an] ongoing problem in communities across the APY Lands, this is where family members or friends pressure other members of the community for cash, food, use of their car or telephone without considering the feelings of the other party. [T]his is also mostly done in the family group where younger members of the family pressure the older members.

[37] Mr Stauner had witnessed residents of the APY Lands being subject to immediate demands to share cash withdrawn from an ATM. The Mimili storekeeper also gave evidence of witnessing behaviour of this description. According to the storekeeper the practice was common and was not confined to the kin of the resident making the withdrawal.

[38] The primary judge acknowledged that Mr Kobelt's book-up system may confer an incidental benefit on Anangu customers by relieving the pressure of demand sharing. Nonetheless, his Honour considered that any such advantage should not be overstated (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [585]). Although all six Anangu witnesses gave evidence of sharing their money with others and of using it to buy goods which were shared with others, none gave evidence of feeling pressured or overborne or of being bullied. Only one witness gave evidence that the desire to avoid demand sharing was the reason for engaging in [755] book-up credit (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [582]). Other Anangu witnesses acknowledged that they had felt an obligation to share and that one of the reasons that they liked shopping at Nobbys was that they could do so away from the gaze of others. Nonetheless, his Honour considered that this evidence fell short of a statement that the reason for engaging in book-up credit was to avoid demand sharing.

[39] A further reason for discounting the significance of demand sharing as an advantage of the book-up system was the primary judge's view that Mr Kobelt's conduct in depriving his customers of access to their own funds increased the likelihood that the customers themselves would engage in a form of demand sharing with those who still had access to funds (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [584]). His Honour noted the availability of financial counselling to Anangu residents of Mimili and Indulkana through the MoneyMob service (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [572]). In the circumstances, the finding was that the avoidance of improvident spending did not justify the withdrawal conduct under Mr Kobelt's book-up arrangements.

[40] Save for two witnesses who had particular grievances, the primary judge found that Mr Kobelt's Anangu customers considered that he had treated them well and they were well-disposed towards him. It was evident that they appreciated the ability to buy food in between their pay days (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [588]). His Honour accepted that many of Mr Kobelt's Anangu book-up customers were satisfied with the book-up arrangement. This was evidenced, among other things, by the fact that several customers had entered into book-up credit arrangements with Mr Kobelt on more than one occasion, returning to Nobbys to hand over their keycards and PINs (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [591]).

[41] The primary judge approached the determination upon an acceptance that "[t]here are undoubtedly features of the Book-up system which several of the Book-up customers find attractive" (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [591]) and "[w]hether rightly or wrongly and whether well informed or not, each [Anangu witness] must have considered [book-up credit] appropriate to their needs" (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [588]).

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[42] The primary judge's finding of unconscionability took into account evidence of an occasion when, as the result of the failure of the Commonwealth Bank's computer system, Mr Kobelt had been able to withdraw sums from his customers' accounts which were well in excess of the available balance in those accounts (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [93]). While this incident ("the CBA glitch") did not form part of the book-up system, his Honour considered that it was difficult to avoid the conclusion that Mr Kobelt had "on this occasion prey[ed] on the customers with CBA accounts to his own advantage" (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [550]).

[43] The principal consideration which informed the primary judge's conclusion was that there was no necessity for Mr Kobelt to withdraw the whole of the customer's funds in order to protect Mr Kobelt's legitimate interests (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [522]). The primary judge identified a number of alternative means by which Mr Kobelt might have protected his legitimate interests while permitting his Anangu customers to purchase goods from Nobbys on credit. His Honour accepted that these alternative arrangements may not have been available in all cases, or, even if available, may not have been satisfactory in all cases. Nonetheless, they served to indicate that the book-up system operated by Mr Kobelt went well beyond that which was necessary for the protection of his own legitimate interests (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [525]-[538]).

[44] His Honour found that Mr Kobelt acted with "a degree of good faith" in his dealings with his Anangu customers. However, this did not mean that Mr Kobelt acted in an "altruistic or disinterested way" (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [559]). His Honour observed that Mr Kobelt was at all times pursuing his own interests, and that he had done so even when the pursuit of those interests was [756] to the detriment of his customers (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [559]). While there were aspects of Mr Kobelt's conduct which could be regarded as benevolent, those aspects were, in his Honour's estimate, incidents of arrangements that he put in place for the benefit of his business.

[45] His Honour observed that the book-up system operated to tie customers to Nobbys, which conferred on Mr Kobelt a significant commercial advantage (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [603]). His Honour characterised the tying effect of Mr Kobelt's book-up credit as constituting a form of exploitation and predation (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [606], [609]). While the supply of credit under Mr Kobelt's book-up system could be seen as a benevolent form of paternalism, it prolonged his Anangu customers' dependence on his exercise of discretionary control over their lives (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [607]).

…

The conduct of the appeal

[47] The conclusion that a supplier of a financial service has engaged in conduct that contravenes the statutory norm of conscience fixed by s 12CB(1) of the ASIC Act is an evaluative judgment. Nonetheless, it is a judgment that is either right or wrong. It was the duty of the Full Court to conduct a "real review" of the evidence and the primary judge's reasons for judgment (*Robinson Helicopter Co Inc v McDermott* (2016) 90 ALJR 679 at 686 [43]; 331 ALR 550 at 558; [2016] HCA 22, citing *Fox v Percy* (2003) 214 CLR 118 at 126-127 [25] per Gleeson CJ, Gummow and Kirby JJ; [2003] HCA 22). Their Honours were unanimous in concluding that the primary judge erred in finding that Mr Kobelt's conduct in the supply of credit under his book-up system was unconscionable. That conclusion is challenged on three grounds. Before turning to those grounds, there should be reference to three features of the proceedings that are not the subject of ASIC's appeal.

[48] The first feature is that ASIC's case, below and in this Court, is that unconscionable conduct involves "the existence of a special [dis]advantage of which someone takes … [u]nconscientious

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advantage" ([2018] HCATrans 252 at 1940-1945) and that Mr Kobelt's conduct in supplying credit under his book-up system took unconscientious advantage of the vulnerability of his Anangu customers. In the circumstances, the appeal does not provide the occasion to consider any suggestion that statutory unconscionability no longer requires consideration of (i) special disadvantage, or (ii) any taking advantage of that special disadvantage ([295] per Edelman J).

[49] Moreover, ASIC made no submission that courts have adopted an unduly restrictive interpretation of the term "unconscionable" contrary to the evident intention of the legislature. The Court was not taken to the legislative history or other extrinsic materials to make good such a suggestion. That is, perhaps, unsurprising since, if the legislative intention were to fix a standard for the supply of financial services in trade or commerce lower than that of conduct that answers the description of being against conscience, it is to be expected that the draftsperson would have employed another term.

[50] Among other values, that of certainty in the conduct of commercial transactions is reflected in the legislative choice to fix the standard of conscience in s 12CB(1) (*Paciocco v Australia and New Zealand Banking Group Ltd* (2015) 236 FCR 199 at 274-275 [296]-[298] per Allsop CJ). Any consideration of "lowering the bar" from that standard should only be undertaken in a case in which the proposition is squarely raised and argued.

[51] The second feature of the proceedings concerns the significance of the finding that the credit provided by Mr Kobelt on the purchase of second-hand vehicles was of a "very expensive kind" (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [492]). ASIC's pleaded case in connection with the credit charge imposed by Mr Kobelt on the purchase of second-hand motor vehicles was with respect to the alleged contravention of s 29(1) of the NCCP Act. Mr Kobelt's appeal against the primary judge's orders respecting the contravention of s 29(1) was dismissed and special leave to cross-appeal from that dismissal was refused.

[52] ASIC did not particularise the credit charge on the purchase of second-hand vehicles in its pleaded case of unconscionable conduct. Nonetheless, Besanko and Gilmour JJ considered that the amount of the credit charge had been an issue at the trial. The conduct of Mr Kobelt's defence had made it one: Mr Kobelt sought to establish that the terms on which he offered credit were better than the terms which his customers could obtain from traditional financial institutions (*Kobelt v Australian Securities and Investments Commission* (2018) 352 ALR 689 at 727 [209]). On the hearing in this Court, ASIC acknowledged that the primary judge's finding was that the credit charge on the purchase of a motor vehicle was objectively expensive, not that it was more expensive than credit available from another credit provider. ASIC accepted that, divorced from the fact that it was undisclosed, the finding of the expensive credit charge had "limited" significance to its unconscionability case. As Besanko and Gilmour JJ observed, the lack of disclosure of the high credit charge was not the gravamen of ASIC's unconscionable conduct case. And as their Honours also observed, "[t]here may be an argument here that it is also relevant that [the Anangu customers] were receiving the motor vehicles at or below market value" (*Kobelt v Australian Securities and Investments Commission* (2018) 352 ALR 689 at 736 [267(3)]).

[53] ASIC's acknowledgment of the limited significance of the expensive credit charge on the purchase of second-hand vehicles to its system case of unconscionable conduct was appropriate. The system case was concerned with the provision of credit under the book-up system. Credit under the book-up system was available for the purchase of second-hand vehicles, food, fuel, general groceries and other services (*Kobelt v Australian Securities and Investments Commission* (2018) 352 ALR 689 at 701 [60]). The essential features of the book-up system which were said to make the provision of credit unconscionable were the withdrawal conduct and the tendency of the withdrawal conduct to tie customers to dependence on Nobbys.

[54] The third feature of the proceedings is that the primary judge made no findings with respect to Mr Kobelt's conduct in relation to the supply of credit to the four customers identified as A, B, C and D, who were the subjects of the case which ASIC did not press (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [625]-[626]).

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The grounds of appeal

[55] Against this background, we now turn to the grounds on which the appeal is brought:

(1) The Full Court failed to give "due weight" to the special disadvantage or vulnerability of Mr Kobelt's Anangu customers and gave "undue or disproportionate weight" to the customers' basic understanding of the book-up system, voluntary entry into the book-up contracts, ability to terminate the contracts (albeit by acting in breach of them), and "agency" or freedom of contract.

(2) The Full Court erred in overturning the primary judge's findings that Mr Kobelt engaged in predation or exploitation; in failing to give "any or due weight" to evidence of Mr Kobelt's "irregular conduct" which, while not part of the "system", was indicative of predation and exploitation; and in giving "undue or disproportionate weight" to the finding that Mr Kobelt acted "with 'a degree of good faith' and not dishonestly or fraudulently".

(3) [758] The Full Court gave "undue or disproportionate weight" to the incidental benefits or advantages of the book-up system arising from historical and cultural norms and practices of the Anangu community, and did not attach "any or due weight" to the primary judge's findings that these historical and cultural norms and practices contributed to or demonstrated the special disadvantage of some of Mr Kobelt's customers.

[56] The legal error that is said to underlie ASIC's first ground is the Full Court's asserted failure to distinguish the principles of undue influence from those of unconscionability under the general law. The argument directs attention to their differing focus: undue influence being concerned with the quality of the consent of the weaker party and unconscionability being concerned with the conduct of the stronger party in taking advantage of the vulnerability of the weaker party. ASIC submits that, while the exertion of undue influence bears on the determination of unconscionability, the absence of undue influence is entirely neutral and the Full Court was wrong to take it into account.

[57] ASIC refers to *Australian Competition and Consumer Commission v Lux Distributors Pty Ltd* (2013) ATPR ¶42-447 as illustrative of the correct approach. The Full Court of the Federal Court of Australia found that Lux Distributors Pty Ltd ("Lux") engaged in conduct in connection with promotion and supply of vacuum cleaners to three elderly customers that was, in all the circumstances, unconscionable contrary to s 51AB of the *Trade Practices Act 1974* (Cth) and s 21 of the *Australian Consumer Law*. This was so notwithstanding the customers' voluntary entry into the sale contracts. The normative standard applied in *Lux* was that of "honest and fair conduct free of deception" (*Australian Competition and Consumer Commission v Lux Distributors Pty Ltd* (2013) ATPR ¶42-447 at 43,467 [41]). Notably, Lux's sales strategy employed a deceptive ruse to gain access to the customer's home and, once entry was gained, a selling technique that was designed to create a sense of obligation to purchase (*Australian Competition and Consumer Commission v Lux Distributors Pty Ltd* (2013) ATPR ¶42-447 at 43,465 [27], 43,467 [39], 43,468 [44]).

[58] Recognition that the supplier of a financial service may engage in conduct that is unconscionable, notwithstanding the recipient's voluntary entry into the contract for the supply of the service (*Thorne v Kennedy* (2017) 91 ALJR 1260 at 1272 [40]), does not make the absence of the exertion of undue influence an irrelevant consideration. Section 12CC(1)(d) invites the court to consider "*whether* any undue influence or pressure was exerted on, or any unfair tactics were used against" the recipient of the financial service (emphasis added) as one of the factors to be weighed in determining whether, in all the circumstances, the supplier's conduct is unconscionable. The absence of the exertion of undue influence, pressure or unfair tactics bears on the assessment of whether the commercial advantage obtained by the supplier in connection with the supply of the financial service is an *unconscientious* advantage.

[59] For the same reasons, ASIC's challenge in its second ground to the weight given by the Full Court to the finding that Mr Kobelt did not act dishonestly must be rejected. ASIC argues that, to the extent that notions of moral tainting or obloquy (*Attorney General (NSW) v World Best Holdings*

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Ltd (2005) 63 NSWLR 557 at 583 [121], 584 [124] per Spigelman CJ; *Australian Competition and Consumer Commission v Lux Distributors Pty Ltd* (2013) ATPR ¶42-447 at 43,467 [41], 43,470 [61] per Allsop CJ, Jacobson and Gordon JJ) "suggest a need for dishonesty or something more than the taking advantage of the special disadvantage" of the recipient, they are unhelpful in applying the statutory standard of unconscionability in the ASIC Act and cognate legislation. The submission does not go anywhere. It may be accepted that conduct in the supply of a financial service may be unconscionable in circumstances in which the supplier's conduct does not involve dishonesty. This is not to say that the absence of dishonesty, or other moral taint, is not a material consideration in determining whether, objectively, the supplier's conduct involves such a departure from accepted community standards in the supply of the financial service as to warrant the characterisation that it is unconscionable (*Ipstar Australia Pty Ltd v APS Satellite Pty Ltd* (2018) 356 ALR 440 at 477 [195] per Bathurst CJ).

[60] The Full Court made clear that it approached the determination upon a view that consideration of moral obloquy had a role to play but was not a substitute for the statutory words (*Kobelt v Australian Securities and Investments Commission* (2018) 352 ALR 689 at 724 [193] per Besanko and Gilmour JJ, 741 [296] per Wigney J). Their Honours correctly took into account the findings that Mr Kobelt acted with a degree of good faith and not dishonestly as among the circumstances to which it was necessary to have regard in determining whether his conduct fell below the statutory norm of conscience.

[61] On the hearing, ASIC did not press that part of its second ground that contends that the Full Court erred in overturning the primary judge's findings of exploitation and predation. The argument now put is that a supplier may fall below the standard of conscionability fixed by s 12CB(1) without engaging in predatory or exploitative conduct. The primary judge's findings in these respects are said to "really … mean nothing much more than taking advantage of the disadvantage". There is no warrant for treating the primary judge's reasons in these respects as mere surplusage. They were findings which informed his Honour's conclusion that Mr Kobelt took *unconscientious* advantage of the vulnerability of his Anangu customers and were consistent with what had been said in *Kakavas* and *Thorne v Kennedy*, referred to earlier in these reasons.

[62] ASIC's central submission is that the Full Court failed to take into account that conduct may be unconscionable if the innocent party is subject to a "special disadvantage 'which seriously affects the ability … to make a judgment as to [the innocent party's] own best interests' ". The submission is developed in support of the third ground of appeal and focuses on Wigney J's analysis. In ASIC's submission, his Honour was wrong to approach the determination upon a view that "[w]hat the wider Australian society and its culture and institutions might regard as disadvantageous and unfair might be regarded by an Anangu person as in fact advantageous and reasonable" (*Kobelt v Australian Securities and Investments Commission* (2018) 352 ALR 689 at 747 [329]). The vice in the conclusion, on ASIC's argument, is that it fails to recognise that the Anangu customers' special disadvantage seriously affected their ability to make a judgment as to their own best interests (*Thorne v Kennedy* (2017) 91 ALJR 1260 at 1272 [38], citing *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 462; [1983] HCA 14). The Anangu customers' lack of financial literacy and choice to enter into book-up credit with Mr Kobelt, in ASIC's submission, result in the maintenance of a system that would be unacceptable in mainstream Australian society.

[63] The submission assumes that, if Mr Kobelt's Anangu customers had not been wanting in financial literacy, they would not have chosen to obtain credit under the book-up system. Implicit in Besanko and Gilmour JJ's analysis, and explicit in Wigney J's analysis, is that the evidence does not support that conclusion.

[64] According to Dr Martin, it was clear "that there is widespread use of book-up, that there is support for this amongst many" members of the community, and:

> that book-up is seen by many Anangu as enabling them to access cash, food and other necessities when they are in the bust segment of the boom and bust cycle, or away from

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> their home community, and also to circumvent the difficulties in saving for larger capital expenditures on valued consumer goods (most particularly motor vehicles).

[65] Book-up credit provided Mr Kobelt's customers with the ability to purchase goods, including motor vehicles, notwithstanding their low incomes and lack of assets with which to secure a loan. While the primary judge canvassed a number of alternative ways in which Anangu customers might have obtained credit, his Honour did not find that the alternatives would serve in all cases. Not only were alternative forms of credit not necessarily available but, as Wigney J noted, some of the suggested alternatives might not have suited the Anangu. They may have preferred to enter into a book-up contract because it did not require the customer to deal with bureaucracy or to fill out paperwork and because they liked to deal with Mr Kobelt as a trusted broker (*Kobelt v Australian Securities and Investments Commission* (2018) 352 ALR 689 at 752 [354]). It is a large submission that the provision of book-up credit on terms which suited Mr Kobelt's adult Anangu customers and which enabled them to purchase a consumer good which they valued highly is to be characterised as objectively against their interests.

[66] The Full Court's finding was that book-up credit suited Mr Kobelt's Anangu customers for reasons that stemmed from cultural practices and norms and not from their position of special disadvantage. ASIC's challenge to the weight that the Full Court gave to the advantages of book-up credit is principally directed to the evidence of demand sharing. ASIC embraces the primary judge's view that this advantage should not be overstated.

[67] The circumstance that only one of the six Anangu witnesses identified the avoidance of demand sharing as a reason for entering into book-up credit arrangements is not to deny that book-up credit was supported by Mr Kobelt's Anangu customers because, among other matters, it relieved them of the pressure of [760] demand sharing. Dr Martin commented on the reluctance of his Anangu interviewees to disclose personal views about the "institution" of book-up. He considered it reasonable to infer that within the "Anangu polity" a consensual public account of book-up was to be accorded primacy rather than individual views.

[68] It was Dr Martin's opinion that (*Kobelt v Australian Securities and Investments Commission* (2018) 352 ALR 689 at 742 [304]):

> By leaving their keycards with the storekeeper, Aboriginal people can avoid the all-pervasive 'humbugging' for cash from relations, particularly on those days when wages or pensions are known to be deposited electronically into accounts, and they may also accumulate savings.

[69] The opinion is in line with the Renouf report, which also identified the avoidance of demand sharing as a benefit of book-up credit. It was open to the Full Court to place weight on the avoidance of demand sharing, together with ameliorating the effects of the boom and bust cycle of expenditure, as advantages of book-up credit which were not the product of the Anangu customers' special disadvantage.

[70] While, as the Full Court acknowledged, the CBA glitch and some instances of other irregular conduct may not have reflected well on Mr Kobelt, their Honours were right to put these instances to one side in considering whether Mr Kobelt's conduct in supplying credit under his book-up system contravened s 12CB(1). Stripped of the findings of predatory and exploitative conduct, ASIC's case relies upon the primary judge's assessment that Mr Kobelt's conduct in withdrawing all of the funds in book-up customers' accounts involved the imposition of a condition that was not reasonably necessary for the protection of his legitimate interests.

[71] The primary judge acknowledged that it suited some customers to have Mr Kobelt take the whole of the available balance from their accounts, that some customers may have requested him to do so, that it may have helped customers to deal with humbugging, and that it may have reduced customers' transaction fees. However, his Honour observed that none of these bore on the reasonable necessity to withdraw the funds for the protection of Mr Kobelt's own interests.

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[72] Section 12CC(1)(b) invites the court to have regard to:

> whether, as a result of conduct engaged in by the supplier, the service recipient was required to comply with conditions that were not reasonably necessary for the protection of the legitimate interests of the supplier.

[73] The primary judge's finding was that (*Australian Securities and Investments Commission v Kobelt* [2016] FCA 1327 at [538]):

> I am satisfied, however, that [alternative systems] serve to indicate that Mr Kobelt's requirement that he obtain possession of customers' key cards and PINs and that he be permitted (*absent a contrary instruction from a customer*) to withdraw the whole of the available balance in the customer's account from time to time, went well beyond what was reasonably necessary for the protection of his own legitimate interests. (Emphasis added)

[74] The finding was not that Anangu customers were required, as a result of Mr Kobelt's conduct, to comply with a condition that Mr Kobelt withdraw the whole of the available balance in the customer's account. The finding was that, under Mr Kobelt's book-up system, credit was supplied on terms which included authorisation to withdraw the whole of the available balance in the customer's account unless the customer placed a limit on the authorisation. In any event, the conclusion of unconscionability requires consideration of the supplier's conduct in all of the circumstances (*Paciocco v Australia & New Zealand Banking Group Ltd* (2016) 258 CLR 525 at 586 [185], 587 [188] per Gageler J, 620 [294] per Keane J; [2016] HCA 28). Again, the finding that it suited many of his Anangu customers for Mr Kobelt to withdraw all of their funds, for reasons unconnected with the customers' want of financial literacy, bears directly on whether his conduct in supplying book-up credit contravened the statutory norm.

[75] Mr Kobelt was not required to act in an altruistic or disinterested way in his dealings with his customers. Nor was Mr Kobelt required to devise an alternative, superior form of book-up credit. The statutory proscription is on engaging in unconscionable conduct. The difficulty with ASIC's system case of statutory unconscionability lies in identifying any advantage that Mr Kobelt obtained from the supply of book-up credit that can fairly be said to be against conscience.

[76] The only advantage that the primary judge identified was that book-up credit tied Mr Kobelt's customers to dependence on Nobbys. His Honour suggested that had the book-up system not created this dependence, Mr Kobelt's Anangu customers might well have chosen to shop at community stores in the APY Lands or in Marla. Even if true, this would not support a conclusion that the supply of credit on Mr Kobelt's book-up terms took unconscientious advantage of his Anangu customers' vulnerability. And, as Wigney J noted, Dr Martin's evidence was that Anangu residents of Mimili and Indulkana viewed shopping at Mintabie as an exercise of "agency" because there was a wider choice available at the Mintabie stores, prices were cheaper and travel was not viewed as a disincentive for most Anangu. Indeed, travel could be seen as advantageous because it entailed visiting "country" and was a "highly social occasion". There was no evidence that Mr Kobelt's customers considered that they had been exploited because they had had to return to Nobbys.

[77] Contrary to the tenor of ASIC's submission, the Full Court's conclusion that Mr Kobelt's conduct was not unconscionable does not posit a different, lower standard of conscionable conduct in the supply of credit to Anangu consumers than applies to the supply of credit to consumers in mainstream Australian society. It is a conclusion that takes into account, correctly, all of the circumstances (ASIC Act, s 12CB(1)) including the evidence of the cultural norms and practices of the Anangu residents of the APY Lands. Acceptance of this evidence is against the premise of ASIC's central submission, that the supply of book-up credit was objectively contrary to the interests of Mr Kobelt's Anangu customers.

[78] The basic elements of Mr Kobelt's book-up system were understood by Mr Kobelt's Anangu customers, and those who chose to enter into book-up credit contracts with him appear to have done so because it enabled them to purchase goods which they valued and which otherwise they may not

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have been able to acquire. The terms on which book-up credit was supplied were perceived by the Anangu customers to be appropriate. This perception was not the product of the Anangu customers' lack of financial literacy: it reflected aspects of Anangu culture that are not found in mainstream Australian society.

[79] Book-up credit has a long history in rural and remote Indigenous communities. In this context, Mr Kobelt's supply of book-up credit was not out of the ordinary. No feature of Mr Kobelt's conduct in the supply of book-up credit to his Anangu customers exploited or otherwise took advantage of the customer's lack of education and financial acumen. While Mr Kobelt's book-up credit system was open to abuse, Mr Kobelt did not abuse it. In the circumstances, the Full Court was right to hold that Mr Kobelt's conduct in connection with the supply of credit to his Anangu customers was not unconscionable.

Order

[80] For these reasons, there should be the following order:

Appeal dismissed with costs.

GORDON AND NETTLE JJ:

Unwritten law

[145] The equitable doctrine of unconscionable conduct "looks to the conduct of the stronger party in attempting to enforce, or retain the benefit of, a dealing with a person under a special disability in circumstances where it is not consistent with equity or good conscience that he should do so" (*Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 474). The "abiding rationale" of the doctrine is to "ensure that it is fair, just and reasonable for the stronger party to retain the benefit of the impugned transaction" (*Kakavas v Crown Melbourne Ltd* (2013) 250 CLR 392 at 425 [118]).

[146] Relief under the doctrine of unconscionable conduct requires that the innocent party was subject to a special disadvantage in dealing with the other party (*Wilton v Farnworth* (1948) 76 CLR 646 at 655; [1948] HCA 20; *Blomley v Ryan* (1956) 99 CLR 362 at 385, 405, 415, 428; [1956] HCA 81; *Amadio* (1983) 151 CLR 447 at 461, 467, 474; *Louth v Diprose* (1992) 175 CLR 621 at 637; [1992] HCA 61; *Garcia v National Australia Bank Ltd* (1998) 194 CLR 395 at 407 [26]; [1998] HCA 48; *Bridgewater v Leahy* (1998) 194 CLR 457 at 478-479 [75]; [1998] HCA 66; *C G Berbatis Holdings* (2003) 214 CLR 51 at 80-81 [68]; *Kakavas* (2013) 250 CLR 392 at 424-425 [117]-[118]; *Thorne v Kennedy* (2017) 91 ALJR 1260 at 1272 [38], 1284 [110]) when the transaction was entered into, "which seriously affect[ed] the ability of the innocent party to make a judgment as to [their] own best interests" (*Amadio* (1983) 151 CLR 447 at 462); and that the other party unconscientiously took advantage of that special disadvantage. The existence of those circumstances at the time of the transaction is what "affect[s] the conscience" of the stronger party and renders the enforcement of the transaction, or the taking of the benefit, "unconscientious" or "unconscionable" (*Thorne* (2017) 91 ALJR 1260 at 1284 [110], quoting *Jenyns v Public Curator (Q)* (1953) 90 CLR 113 at 118; [1953] HCA 2).

[147] It is not possible to identify exhaustively what amounts to a special disadvantage (*Amadio* (1983) 151 CLR 447 at 474; *Louth* (1992) 175 CLR 621 at 637; *C G Berbatis Holdings* (2003) 214 CLR 51 at 92 [99]; *Thorne* (2017) 91 ALJR 1260 at 1285 [113]). However, the essence of the relevant weakness is that it "seriously affects" the innocent party's ability to safeguard their own interests (*Thorne* (2017) 91 ALJR 1260 at 1285 [113], quoting *Kakavas* (2013) 250 CLR 392 at 425 [118]. See also *C G Berbatis Holdings* (2003) 214 CLR 51 at 64 [12], citing *Blomley* (1956) 99 CLR 362 at 392 and *Amadio* (1983) 151 CLR 447 at 476-477). Relevant matters may include, but are not limited to, "poverty or need of any kind, sickness, age, sex, infirmity of body or mind, drunkenness, illiteracy or lack of education, lack of assistance or explanation where assistance or explanation is necessary" (*Blomley* (1956) 99 CLR 362 at 405); as well as "illness, ignorance, inexperience, impaired faculties, financial need or other circumstances" that affect the innocent or weaker party's ability to protect their own interests (*Blomley* (1956) 99 CLR 362 at 415, quoted in *Amadio* (1983) 151 CLR 447 at 459

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and *Thorne* (2017) 91 ALJR 1260 at 1285 [113]). It is not sufficient that the matters give rise only to an inequality of bargaining power (*Amadio* (1983) 151 CLR 447 at 462).

[148] A party will have unconscientiously taken advantage of an innocent party when the former knew or ought to have known of the existence and effect of the special disadvantage (*Thorne* (2017) 91 ALJR 1260 at 1272 [38], citing *Amadio* (1983) 151 CLR 447 at 462); or, put another way, when the special disadvantage was sufficiently evident at the time of the transaction to make it unconscientious to procure or accept the assent of the innocent party (*Thorne* (2017) 91 ALJR 1260 at 1285 [114]. See also *Blomley* (1956) 99 CLR 362 at 428; *Amadio* (1983) 151 CLR 447 at 474; *Louth* (1992) 175 CLR 621 at 637; *Kakavas* (2013) 250 CLR 392 at 427 [124], 439 [158]).

[149] Unconscionable conduct does not require a finding of dishonesty (See, eg, *Amadio* (1983) 151 CLR 447 at 478; *Bridgewater* (1998) 194 CLR 457 at 493 [122]). However, it is not merely concerned with what is "fair" or "just" (See *Attorney General (NSW) v World Best Holdings Ltd* (2005) 63 NSWLR 557 at 583 [121]). Unconscionable conduct can include the passive acceptance of a benefit in unconscionable circumstances (*Hart v O'Connor* [1985] AC 1000 at 1024, quoted in *Bridgewater* (1998) 194 CLR 457 at 479 [76]; see also at 493 [122]). And unconscionable conduct can be found even where the innocent party is a willing participant, the question is how that willingness or intention to participate was produced (*Bridgewater* (1998) 194 CLR 457 at 491 [118], quoting *Huguenin v Baseley* (1807) 14 Ves Jun 273 at 299-300 [33 ER 526 at 536]).

[150] As this Court has recognised and restated a number of times, invocation of equitable doctrines, including unconscionable conduct (*Jenyns* (1953) 90 CLR 113 at 118-119, quoting *The "Juliana"* (1822) 2 Dods 504 at 521 [165 ER 1560 at 1567] (citation omitted). See also *Tanwar Enterprises Pty Ltd v Cauchi* (2003) 217 CLR 315 at 325 [23]; [2003] HCA 57; *Kakavas* (2013) 250 CLR 392 at 426 [122]-[123]; *Thorne* (2017) 91 ALJR 1260 at 1273 [43]):

> calls for a precise examination of the particular facts, a scrutiny of the exact relations established between the parties and a consideration of the mental capacities, processes and idiosyncrasies of the [weaker party]. Such cases do not depend upon legal categories susceptible of clear definition and giving rise to definite issues of fact readily formulated which, when found, automatically determine the validity of the disposition. … ['']A court of equity takes a more comprehensive view, and looks to every connected circumstance that ought to influence its determination upon the real justice of the case''.

[151] Here, the issue of special disadvantage must be considered as part of the broader question: whether Mr Kobelt's book-up system took advantage of an inability on the part of some of his customers to make worthwhile decisions in their own interests, which inability was sufficiently evident to Mr Kobelt, or should have been, to render his system exploitative (See *Kakavas* (2013) 250 CLR 392 at 426-427 [124], citing *Louth* (1992) 175 CLR 621 at 632).

[152] It is sometimes said that unconscionable conduct entails "moral obloquy" or a "high level of moral obloquy" (*Paciocco v Australia & New Zealand Banking Group Ltd* (2016) 258 CLR 525 at 587 [188]; [2016] HCA 28, quoting *World Best* (2005) 63 NSWLR 557 at 583 [121]). So to describe unconscionable conduct, however, reveals little of the requisite character of unconscionability. Such descriptors are better seen as emphatic expressions of conclusion rather than expressions of applicable standards.

[153] The doctrine of unconscionability was recently criticised by the Court of Appeal of Singapore for its vagueness and generality (See *BOM v BOK* [2018] SGCA 83 at [121]-[125]). The Court applied a distinction between "broad" and "narrow" [775] unconscionability in an effort to address this issue (*BOM* [2018] SGCA 83 at [140]-[142]). The utility of such distinctions, however, is questionable. Certainly, in any given case, a conclusion as to what is, or is not, against conscience may be contestable: so much is inevitable given that the standard is based on a broad expression of values and norms (*Paciocco* (2015) 236 FCR 199 at 276 [304]). However, efforts to address the "indeterminacy" (*Commonwealth Bank of Australia v Kojic* (2016) 249 FCR 421 at 436 [58]) of the doctrine by way of

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further distillations, categorisations or definitions may risk "disappointment, … a sense of futility, and … the likelihood of error" (*Paciocco* (2015) 236 FCR 199 at 276 [304]). This is because evaluating whether conduct is unconscionable "is not a process of deductive reasoning predicated upon the presence or absence of fixed elements or fixed rules" (*Paciocco* (2015) 236 FCR 199 at 276 [304]). Instead, at least in the Australian statutory context, what is involved is an evaluation of business behaviour (conduct in trade or commerce) in light of the values and norms recognised by the statute (*Paciocco* (2015) 236 FCR 199 at 276 [304]). The problem of indeterminacy is addressed by close attention to the statute and the values derived from it, as well as from the unwritten law (*Kojic* (2016) 249 FCR 421 at 436 [58]).

Non-exhaustive list of factors

[154] Section 12CB(1) requires that the court have regard to "all the circumstances" (See *Paciocco* (2016) 258 CLR 525 at 587 [188], 620 [294]. See also *Jenyns* (1953) 90 CLR 113 at 118-119, quoted in *Kakavas* (2013) 250 CLR 392 at 426 [122] and *Thorne* (2017) 91 ALJR 1260 at 1273 [43]) in determining whether conduct is unconscionable. But the ASIC Act also gives "express guidance as to the norms and values that are relevant to inform the meaning of unconscionability and its practical application" (*Paciocco* (2015) 236 FCR 199 at 270 [279]; see also at 276 [306]; *Australian Competition and Consumer Commission v Lux Distributors Pty Ltd* (2013) ATPR ¶42-447 at 43,463 [23]). That express guidance is found in the non-exhaustive list of factors set out in s 12CC, which assists in setting a framework for the values that lie behind the notion of conscience identified in s 12CB (*Paciocco* (2015) 236 FCR 199 at 272 [285], 276 [304]; *Kojic* (2016) 249 FCR 421 at 436 [58], 442-443 [87]).

…

[155] No one factor (or select group of factors) is primary or determinative. It is, therefore, not appropriate to select particular factors upon which to focus (*Paciocco* (2016) 258 CLR 525 at 587 [189], 620 [294]). All the relevant factors must be taken into account (See *Paciocco* (2016) 258 CLR 525 at 587 [188], 620 [294]. See also *Jenyns* (1953) 90 CLR 113 at 118-119, quoted in in *Kakavas* (2013) 250 CLR 392 at 426 [122] and *Thorne* (2017) 91 ALJR 1260 at 1273 [43]).

Voluntariness

[156] At the heart of this appeal is what is said to be a tension between the voluntariness of the customers' entry into the transactions and perceived advantages of the system on the one hand; and their vulnerability and the conduct of Mr Kobelt on the other.

[157] It is important to appreciate, therefore, that considerations of voluntariness need to be assessed in the context of the system of conduct in issue. Conduct can be unconscionable even where the innocent party is a willing participant; the question is *how that willingness or intention was produced* (*Bridgewater* (1998) 194 CLR 457 at 491 [118], quoting *Huguenin* (1807) 14 Ves Jun 273 at 299-300; 33 ER 526 at 536). An innocent party may be capable of making an independent or rational judgment about an advantage in an otherwise bad bargain. However, an advantage, and the capacity of the innocent party to identify that advantage and make a rational choice, cannot operate to transform what is, in all the circumstances, an exploitative arrangement. Nor can the existence of that advantage absolve from liability the stronger party who unconscientiously takes advantage of the weaker party.

[158] To contend otherwise in this case is to use the limited choices available to Mr Kobelt's customers in relation to cars and credit to excuse a system which tied those customers to Nobbys and placed them in a position of dependence in relation to Mr Kobelt. Of course, to be able to purchase a car is better than to have no car; to have access to credit is preferable to having no access to credit. But these propositions say nothing about the terms on which the car and credit are provided.

[159] Voluntariness must be judged against other relevant matters: the power imbalance between the parties; the relative lack of choice available to Mr Kobelt's customers; the fact that customers had a limited understanding of the terms of the arrangement; the lack of transparency of the terms

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and conditions of the arrangement; and, importantly, Mr Kobelt's exploitative conduct. Many of those matters arose from Mr Kobelt's particular conduct, rather than any particular characteristic of his customers. They arose because Mr Kobelt chose to set up his system of book-up in the way that he did.

[160] Contrary to the view of Wigney J in the Full Court, and notwithstanding that some customers expressed positive views about Nobbys, it is not paternalistic to assess the vulnerability of Mr Kobelt's customers and whether that vulnerability was exploited. It is not paternalistic to take into account that the view of a vulnerable party of a transaction will be shaped by context and circumstance. Equally, it is not paternalistic to look at the transaction and the position of the parties objectively. It is to do no more than engage with the criteria of unconscionability.

[161] Moreover, so to conclude does not ignore that there are perceived to be cultural benefits of book-up generally, in that it can, in some circumstances, address "boom and bust" expenditure and "demand sharing" obligations. Because the focus [777] of s 12CB(1) is on the conduct of the supplier of financial services, those cultural benefits, even if they were being addressed by Mr Kobelt's system, do not relieve a finding of unconscionability with respect to his particular system. Instead, s 12CB(1) requires the supplier to set up a system, a book-up system, that is not unconscionable. The contention that Mr Kobelt's book-up system is "better than nothing" is not good enough. Mr Kobelt's system could, and should, have been better. There were alternative ways to access those benefits without exploitation. Voluntariness of entry into the arrangements, and the perceived advantages of the system, do not prevent Mr Kobelt's conduct from being unconscionable.

…

Effect of the arrangements – tying conduct

[205] Mr Kobelt's system "tied" book-up customers to Nobbys. The primary judge found that this "tying" effect was a form of "exploitation" (*ASIC v Kobelt* [2016] FCA 1327 at [606]; see also at [620]) and that this, combined with Mr Kobelt's requirement that he have access to the whole of customers' incomes, was a form of "predation" (*ASIC v Kobelt* [2016] FCA 1327 at [609]). The Full Court overturned these conclusions (See *Kobelt (FC)* (2018) 352 ALR 689 at 735-736 [267]-[268], 756-757 [374]-[379], 758-759 [385]). By its notice of appeal, ASIC contended that the Full Court erred in overturning the findings of the primary judge that Mr Kobelt had engaged in predation or exploitation. At the hearing of the appeal, although counsel for ASIC contended that the words "predation" or "exploitation" meant no more than taking advantage of disadvantage, ASIC did not abandon the contention that the primary judge's findings on predation and exploitation (or that Mr Kobelt had "taken advantage") should be restored. Those findings should be restored.

[206] The system deprived customers of independent means of obtaining the necessities of life. It prevented them from shopping in their own communities. It created a prolonged dependence on Mr Kobelt's exercise of discretion.

[207] By making his customers dependent on a favourable exercise of his goodwill, Mr Kobelt placed them in a position of vulnerability, separate to and different from the vulnerability which existed at the time they entered into the book-up arrangement. The primary judge was right to describe the system as constituting "exploitation" and "predation".

Mr Kobelt's knowledge

[208] The primary judge was satisfied that Mr Kobelt knew of the characteristics of his customers on the basis that it must have been obvious from the interactions he had with them.

[209] ASIC did not contend that Mr Kobelt had adopted forms of undue influence or exerted undue pressure. The primary judge therefore made no finding to that effect.

[210] Despite the illegibility of Mr Kobelt's records, it was not found that he maintained his records dishonestly, or used the key cards and PINs dishonestly. The primary judge said that Mr Kobelt acted

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with a *degree* of good faith, but at all times pursued his own interests, even when that was to the detriment of his customers. The primary judge found as a fact that some of the withdrawals from the customers' accounts were not authorised.

Advantages to customers?

[211] In the Full Court, the plurality found that the primary judge had given insufficient weight to, among other things, the advantages to Nobbys' customers in alleviating the disadvantages associated with demand sharing and boom and bust expenditure. Unsurprisingly, in this Court, Mr Kobelt relied upon that finding, and the evidence said to support that finding, in seeking to demonstrate the advantages to customers of his book-up system.

[212] Dr David Martin, a social anthropologist, was retained by ASIC and gave evidence at the trial. Dr Martin was described by the primary judge as having a deep understanding of remote Aboriginal people's relationship with money and financial transactions, including an understanding about "particular mechanisms by which Aboriginal people typically seek to structure and personalise relationships with outsiders in order to access goods and services which they value" (*ASIC v Kobelt* [2016] FCA 1327 at [389]).

[213] The primary judge described Dr Martin's evidence as "generally helpful and reliable" (*ASIC v Kobelt* [2016] FCA 1327 at [416]). However, it is necessary to understand Dr Martin's evidence including the relevant findings made about it by the primary judge and the Full Court. He was retained to provide an opinion concerning certain of Nobbys' Anangu customers in relation to ASIC's (ultimately abandoned) secondary case directed to specific customers rather than the book-up system generally, as well as "any other Aboriginal customers of Nobbys with whom [he spoke] as part of [his] field trip" (*ASIC v Kobelt* [2016] FCA 1327 at [391]). Dr Martin was instructed to assume that for the majority of Nobbys' Anangu book-up customers: periodic payments into their accounts were those customers' only source of income; use of a key card was the primary or exclusive means by which the customers accessed their account; and the customer was a resident of a remote community, in the APY Lands, and had very limited or no assets and very little income.

[214] Dr Martin's initial instructions were to report on, among other things, any facts or circumstances affecting customers' ability or willingness to question or negotiate the terms of book-up and to complain about those terms. Those instructions were later expanded to address an additional question, namely, "[w]hat, if any, social or cultural matters affect the ability or willingness of Aboriginal residents of the APY Lands" (*ASIC v Kobelt* [2016] FCA 1327 at [392]) – that is, persons of the APY Lands generally, not those who identified as Nobbys customers – to understand the nature, terms, advantages and disadvantages of credit arrangements generally and of the specific arrangement provided by Nobbys; question or negotiate the terms of transactions (including credit arrangements) with traders; and complain about the terms of such transactions? Dr Martin conducted three field trips to the APY Lands, during which he spoke to a total of 23 Indigenous residents in Mimili and Indulkana.

[215] Given that Dr Martin was never asked to express an opinion specifically with respect to the 117 customers the subject of ASIC's primary case (that is, directed to the book-up system generally), the primary judge considered that care had to be taken before accepting characterisations of the 117 customers that depended upon inferences drawn from characteristics of the Anangu population generally. Indeed, Dr Martin accepted in cross-examination, and in his report, that it was not reasonable to impute to all of Mr Kobelt's customers all of the characteristics which he had been asked to assume.

[216] The primary judge referred to Dr Martin's description at trial of demand sharing as part of the "foundational principles of reciprocity, exchange and sharing within a hunter gatherer society". Dr Martin considered, however, that while it might be reasonable to come to the view that leaving key cards at Nobbys was part of a strategy to avoid demand sharing, Dr Martin had "no firm evidence to come to that view" (*ASIC v Kobelt* [2016] FCA 1327 at [578]). In the result, the primary judge found that there was "very little evidence from the Anangu customers themselves that they handed over

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their key cards and PINs to Mr Kobelt *in order to* achieve … these outcomes. … [W]ith one exception, none [of the Anangu witnesses] said that it was the desire to avoid this kind of sharing which was the reason they engaged in [b]ook-up or that they shopped at Nobbys" (*ASIC v Kobelt* [2016] FCA 1327 at [582]). Mr Kobelt's challenges to the primary judge's findings in respect of avoidance of demand sharing, and the extent to which the primary judge had considered Dr Martin's evidence in respect of this issue, were dismissed by the plurality in the Full Court.

[217] The plurality were right to do so. As was explained in *Thorne v Kennedy* ((2017) 91 ALJR 1260 at 1272-1273 [41]), where a transaction is sought to be impugned by the operation of vitiating factors such as, relevantly, unconscionable conduct, it is necessary for a primary judge to conduct a close consideration of the facts; and it is equally necessary for an appellate court to assess any challenge to the primary judge's conclusions in light of the advantages enjoyed by that judge. That is because an assessment of whether unconscionable conduct has been established calls for a precise examination of the particular facts, and the exact relations established between the parties (*Thorne* (2017) 91 ALJR 1260 at 1273 [43], quoting *Jenyns* (1953) 90 CLR 113 at 118-119). The advantage of a primary judge in seeing the parties and estimating their characters and capacities is "immeasurable" (*Wilton* (1948) 76 CLR 646 at 654, cited in *Louth* (1992) 175 CLR 621 at 633).

[218] Moreover, this appeal is concerned with Mr Kobelt's book-up system, not all book-up systems or even the generalised conception of book-up systems described by Dr Martin. It is concerned with the 117 recipients of book-up services identified as part of ASIC's case against Mr Kobelt, not all Anangu people or all Aboriginal people living in remote areas. In particular, there was very little evidence that those 117 customers chose to enter into the book-up system to avoid demand sharing. Therefore, this Court should be slow to go beyond the primary judge's findings of fact, which were upheld on appeal, and conclude, inferring from general information pertaining to the Anangu or remote Aboriginal people, that Mr Kobelt's customers entered into the book-up arrangements for cultural reasons and not due to their position of special disadvantage. The primary judge's factual findings dictate otherwise: due to their vulnerability, the 117 customers had little other choice.

Alternatives to Mr Kobelt's book-up system

[219] The primary judge found that Mr Kobelt's book-up system went beyond what was reasonably necessary to protect his legitimate interests in two fundamental ways: by requiring that customers hand over key cards and PINs and by withdrawing the whole, or nearly the whole, of the available balance in the customer's account on each payday.

[220] The primary judge identified other arrangements that Mr Kobelt could have used, which made the provision of key cards and PINs not reasonably necessary to protect his legitimate interests (While this point was not pleaded by ASIC as a particular of unconscionable conduct, the plurality in the Full Court held that it did not need to be pleaded).

[221] First, Mr Kobelt could have applied to be a "Participant" in the Commonwealth Government's "Centrepay" system. Once a supplier has been accepted as a Participant, Centrelink recipients may authorise Centrelink to pay part of their benefits to that Participant. The Centrepay facility is generally directed to essential services and only a selection of "additional services". Mr Kobelt said at trial that he would take up this option if it were offered to him, despite earlier difficulties he had encountered when he had enquired about participating in Centrepay. That said, doubts were expressed by the primary judge and by Wigney J as to whether the Centrepay facility would encompass the purchase of used cars, although Nobbys as a supplier of food and groceries might have been eligible for acceptance as a Participant.

[222] Second, Mr Kobelt could have agreed on a direct debit arrangement with the purchasers of his cars. Mr Kobelt agreed that this system could work well if the customers could organise it.

[223] Third, for customers who lived nearby, Mr Kobelt accepted that he could have retained possession of the customers' key cards but not their PINs. He could have handed the key card back to

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the customer when they came to Nobbys, with the expectation that they would do so on or shortly after each payday to effect a transfer to Nobbys in reduction of their debt.

[224] Fourth, Mr Kobelt could have arranged deductions from customers' wages to pay off their debt.

[225] In addition, to mitigate the disadvantages of boom and bust expenditure, some book-up customers could request that Centrelink make pension payments weekly, rather than fortnightly. There was no suggestion that such a facility would not also have been available to those book-up customers who were recipients of Centrelink benefits.

[226] Wigney J in the Full Court questioned whether some of these alternatives were in fact reasonably available or feasible. In his Honour's view, the primary judge's analysis of these various alternatives tended to ignore evidence that suggested that the Anangu may have preferred Mr Kobelt's book-up system to the alternatives because it involved the personalisation of the financial transaction. It is true that the primary judge made limited reference to the personalisation of financial transactions, referring only to that concept in describing the expertise of Dr Martin. However, two further matters should be observed about this aspect of Dr Martin's evidence. Dr Martin's evidence was that there was a *tendency* for Indigenous APY Lands residents to personalise financial transactions by conducting financial transactions through "brokers" such as storekeepers to better access goods and services. This tendency was based on inferences Dr Martin drew from the assumptions set out in his instructions together with his observations and interviews. The limitations on the extent to which Dr Martin's evidence can be used to establish that the Anangu generally and Mr Kobelt's customers specifically had such a tendency are self-evident. Further, there is nothing to suggest that the alternatives outlined above would result in any reduction, let alone any great reduction, in the personalisation of the transaction. It is plain that each retains some relationship with a local storekeeper including, specifically, that the credit is provided by a person known to the customer; it is simply the method by which book-up or another form of credit – each necessarily personal – is provided that is different.

[227] In addition to the alternative arrangements identified by the primary judge, it is plain that another real alternative was and remains an appropriately functioning form of *book-up*. The characteristics of such a system are readily identifiable: an assessment of whether customers needed the credit facility and could afford the repayments; the disclosure of all fees and charges to customers; no retention as "security" of a customer's key card, let alone their PIN; the transfer of an agreed amount or proportion of weekly or fortnightly income, rather than the whole of a customer's income; legible and consistent records of the original credit advanced, the payments made, and a running total of the balance outstanding, imposing a discipline to keep these records up to date; and a system where the customers were not "tied" to the credit provider for the provision of other goods and services.

[228] Finally, the Withdrawal Conduct (See [180]-[184] above) is itself illustrative of the problems. That conduct revealed that Mr Kobelt worked actively to avoid some customers having access to the 50 per cent of the income which should have been available to them and that those customers were not content with having 50 per cent of their income available only at Mr Kobelt's discretion and only through his store or purchase orders. That conduct further supports the conclusion that the customers would not necessarily have chosen Mr Kobelt's book-up system if the fact of alternatives was explained and made available.

[229] Alternatives were available. There is nothing to suggest that these alternatives would not have worked and, in fact, in relation to some of them, Mr Kobelt agreed that they could work well.

Mr Kobelt's book-up system was unconscionable

[230] Mr Kobelt accepted that statutory unconscionability was capable of applying to a system of conduct or pattern of behaviour and that his provision of credit to the 117 customers was conduct "in trade or commerce" and was conduct in connection with the supply of "financial services" to individuals. Therefore, the sole issue was and remains whether Mr Kobelt, in the implementation and provision of his book-up system, engaged in a system of conduct or pattern of behaviour that

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was "unconscionable" contrary to s 12CB(1) of the ASIC Act. For the reasons that follow, the answer is "yes".

[231] ASIC advanced three grounds in respect of the Full Court's finding to the contrary. Those grounds related to the special disadvantage of Mr Kobelt's customers, the predatory and exploitative nature of Mr Kobelt's conduct, and the weight to be given to purported advantages arising from the book-up system in relation to the practices of demand sharing and boom and bust expenditure. Each identifies a matter central to the assessment of unconscionability in the circumstances of this case but none can be viewed in isolation. Accordingly, the issues raised by ASIC will be addressed in the context of assessing Mr Kobelt's conduct against the non-exhaustive list of factors in s 12CC.

[232] The Court's focus must primarily be on the nature of the conduct by the stronger party (See Australia, House of Representatives, *Competition and Consumer Legislation Amendment Bill 2011*, Explanatory Memorandum at 22 [2.24]). First, s 12CB(4)(b) extends s 12CB(1) unconscionable conduct to a "system of conduct or pattern of behaviour, whether or not a particular individual is identified as having been disadvantaged". It follows from the fact that a specific person need not be identified that special disadvantage of an individual is not a necessary component of the prohibition (See Australia, House of Representatives, *Competition and Consumer Legislation Amendment Bill 2011*, Explanatory Memorandum at 22 [2.23]). Indeed, Parliament's intention in this respect was explained in the following terms (Australia, House of Representatives, *Competition and Consumer Legislation Amendment Bill 2011*, Explanatory Memorandum at 21 [2.21]):

> [T]he focus of the provisions is on *conduct* that may be said to offend against good conscience; it is not specifically on the characteristics of any possible 'victim' of the conduct (though these may be relevant to the assessment of the conduct). (Emphasis in original)

[233] That focus on the conduct of the stronger party reflects the difference between the equitable doctrines of unconscionable conduct and undue influence. The former is concerned with the conduct of the stronger party in unconscientiously taking advantage of the weaker party. The latter is concerned with the quality of the consent or assent of the weaker party (*Thorne* (2017) 91 ALJR 1260 at 1281 [86] and the authorities cited therein). That distinction is also reflected in ss 12CB(1) and 12CC(1), where the prohibition in s 12CB(1) is against unconscionable conduct and "any undue influence or pressure … or any unfair tactics" is only *one* of several factors to be taken into account if relevant (ASIC Act, s 12CC(1)(d)).

[234] The assessment of whether conduct is unconscionable within the meaning of s 12CB involves the evaluation of facts by reference to the values and norms recognised by the statute, and thus, as it has been said, a normative standard of conscience which is permeated with accepted and acceptable community standards (*Lux Distributors Pty Ltd* (2013) ATPR ¶42-447 at 43,463 [23], cited in *Paciocco* (2015) 236 FCR 199 at 275 [298]). It is by reference to those generally accepted standards and community values that each matter must be judged.

Vulnerability or special disadvantage

[235] Vulnerability or special disadvantage may arise from matters including "poverty or need of any kind … [and] illiteracy or lack of education" (*Blomley* (1956) 99 CLR 362 at 405, quoted in *Amadio* (1983) 151 CLR 447 at 474 and *Kakavas* (2013) 250 CLR 392 at 425 [117]. See also *Thorne* (2017) 91 ALJR 1260 at 1285 [113]). Mr Kobelt's customers were vulnerable or at a special disadvantage (See [165]-[171] above). Their vulnerability existed because of the remoteness of their communities, the limitations on their education, their impoverishment, and the limitations on their financial literacy – not as a result of Anangu cultural practices. Both the primary judge and the Full Court accepted that Mr Kobelt's customers were vulnerable (*ASIC v Kobelt* [2016] FCA 1327 at [620]; *Kobelt (FC)* (2018) 352 ALR 689 at 702 [67], 736 [268], 755-756 [371]-[372]) and there was no dispute that Mr Kobelt knew of his customers' special disadvantage (see [208] above).

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[236] Indeed, as the primary judge noted, the ready willingness of Mr Kobelt's customers to hand over their key cards and their PINs seems to reflect a lack of understanding of the precautions which they should take in their own self-interest (*ASIC v Kobelt* [2016] FCA 1327 at [620]). As Wigney J observed, the Anangu plainly had a different conception of, and different attitude towards, their key cards and they trusted Mr Kobelt. But that observation, and that trust, do not provide an answer, or defence, to the fact that, in *all* the circumstances, Mr Kobelt's book-up system was unconscionable contrary to s 12CB of the ASIC Act. Instead, the fact that the Anangu had a different conception of, and different attitude towards, their key cards and that they trusted Mr Kobelt is part of the factual matrix which identifies, and explains, their vulnerability and the voluntariness of their entry into the book-up system as well as the significance of the other relevant factors listed in s 12CC(1), which are addressed next.

Mr Kobelt unconscientiously took advantage of his customers' vulnerability

[237] The Full Court found that Mr Kobelt had not taken advantage of his customers' vulnerability because the customers understood the basic elements of Mr Kobelt's book-up system, including the Withdrawal Conduct (See [169]-[170] and [180]-[184] above; *Kobelt (FC)* (2018) 352 ALR 689 at 735 [265], 752 [355]); voluntarily entered into the book-up arrangements (*Kobelt (FC)* (2018) 352 ALR 689 at 735 [266], 752 [355]); had the ability to terminate the contracts (*Kobelt (FC)* (2018) 352 ALR 689 at 736 [268]); and had agency, which must be respected (*Kobelt (FC)* (2018) 352 ALR 689 at 743-744 [309]-[310], 750 [348], 751-752 [352], [355], 757 [376]), and their freedom of contract should not be impeded.

[238] There are a number of errors in that analysis. Vulnerable persons may be unable to protect their own interests. If a person, unable to protect their own interests, voluntarily enters into a transaction, this does no more than remove the conduct from it being the subject of relief on the ground of undue influence where the elements, and methods of proof, are quite different (See *Thorne* (2017) 91 ALJR 1260 at 1281 [86]). It is because it is a transaction that is *voluntarily* entered into by someone under a special disadvantage that unconscionability, including statutory unconscionability, developed, in order to ensure that persons who are vulnerable and unable to protect their own interests are not the victim of conduct by a stronger party in unconscientiously taking advantage of that vulnerability. And that is what Mr Kobelt's book-up system did.

[239] The unconscionability of Mr Kobelt's conduct was that the 117 customers were at such a special disadvantage relative to Mr Kobelt so as to be unable to make a decision in their own interests, and Mr Kobelt, knowing or in circumstances where he ought to have known of their incapacity to make a decision in their own interests, took advantage of that disadvantage to get them to agree to his terms.

[240] It is irrelevant that some of the customers might have regarded the requirements of Mr Kobelt's system as not unreasonable or considered that it alleviated pressures of demand sharing. The requirements of the system were unreasonable, regardless of any effects on demand sharing. Even if some of his 117 customers might have thought otherwise, the customers were so disadvantaged by their remoteness, the limitations on their education, their impoverishment and the limitations on their financial illiteracy, as well as the limited available alternatives, as to be in a position where they could not demand a superior system.

(i) Power imbalance: s 12CC(1)(a), (e) and (j)(i)

[241] Mr Kobelt held all the power in the relationship. His Anangu customers were vulnerable and unable to protect their own interests. They were limited in their ability to acquire credit on the same terms, or at all, anywhere in reasonable proximity to the APY Lands, meaning that Nobbys had a near-monopoly on the provision of credit. Further, Mr Kobelt did not provide credit to the Anangu on any other terms except book-up; and he was not flexible in relation to the requirement that customers provide their key card and PIN or in relation to certain other terms on which he provided credit (cf *Kobelt (FC)* (2018) 352 ALR 689 at 755 [367]-[368]).

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[242] The fact that there was no indication that the customers wished to bargain with Mr Kobelt is unsurprising. That is often the position with vulnerable persons: they do not know of potential alternatives and often, even if they are aware of such alternatives, lack the ability to negotiate. Moreover, s 12CC(1)(a) requires consideration of the "relative strengths of the bargaining positions" of the relevant parties. It is concerned with the existence of the power imbalance, not the wishes of the weaker party.

[243] As against that, the ability of customers to frustrate the arrangements should be given little, if any, weight. The primary judge found that to frustrate the arrangements would require customers to "act in breach of their agreement with Mr Kobelt, that is, to act in a way which was dishonourable, if not dishonest" (*ASIC v Kobelt* [2016] FCA 1327 at [513]). Mr Kobelt did not challenge this finding before the Full Court. That reinforced the power imbalance. And, no less importantly, it would be wrong to conclude that the theoretical ability of the weaker party to frustrate the wrongful conduct of the stronger party could ameliorate the wrongful conduct of that stronger party. That is the antithesis of unconscionability.

[244] As has been observed, unequal bargaining power on its own is not sufficient to establish unconscionability (see *Amadio* (1983) 151 CLR 447 at 462). But it provides the context in which the remaining factors are to be assessed.

(ii) Circumstances of entry: s 12CC(1)(c), (i) and (j)(i)

[245] The circumstances in which Mr Kobelt's Anangu customers entered into the book-up arrangements were characterised not only by a power imbalance, but also by a lack of transparency and lack of proper understanding of the arrangements, resulting in an inability of Mr Kobelt's customers to hold him to account.

[246] When customers entered into the arrangements, Mr Kobelt failed to document and disclose properly, or at all, the terms and conditions of the arrangement, the amount and frequency of the withdrawals, the amount of the debt or charges or the price differential for the purchase of the second-hand cars (See [172]-[173], [175], [179], [188]-[189], [194]-[197] and [202]-[203] above). As the primary judge found, Mr Kobelt's customers would not have been able to understand his inadequate and often illegible records (*ASIC v Kobelt* [2016] FCA 1327 at [544], [546]).

[247] Wigney J considered that these facts and matters did not deserve any significant weight for two reasons: (1) there was a cultural preference for Anangu customers to deal with business matters "face-to-face [rather] than be provided with a sheath [sic] of documents" (*Kobelt (FC)* (2018) 352 ALR 689 at 747 [330]); and (2) there was no evidence that any customer had sought an account of the transactions (*Kobelt (FC)* (2018) 352 ALR 689 at 753 [359]). That analysis is incomplete: it interprets s 12CC(1)(c) too narrowly.

[248] The problem was that there was *no transparency or accountability* under Mr Kobelt's system. Mr Kobelt's "face-to-face" interactions did not enable customers to have a *proper* understanding of the terms of the book-up arrangement. When customers entered into the book-up arrangement they had only an understanding of the "basic elements" of the arrangement. That meant that the customers did [788] *not* have a clear understanding of exactly how much Mr Kobelt would withdraw; how often and at what time of day he would withdraw; where their funds would be kept; whether and through what mechanism they were entitled to access their funds; how much they could access at a given time and to what uses it could be put; the fact that book-up for second-hand cars attracted a charge; and the fact that there were alternatives. Put simply, Mr Kobelt's book-up system was characterised by a complete lack of transparency and accountability. A cultural preference for oral communication does not justify exploitation or taking advantage of people without their knowledge or in the absence of full disclosure. Instead, the preference for oral communication demands that the credit provider provide the financial service in a manner which addresses that preference.

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(iii) Mr Kobelt's book-up system and its implementation: s 12CC(1)(d), (j)(ii)-(iv) and (l)
[249] Mr Kobelt's book-up system, and his implementation of it, allowed Mr Kobelt to engage in wrongful conduct to obtain a financial benefit to the detriment of his customers.

[250] The primary judge said that Mr Kobelt acted with a degree of good faith, although that statement was qualified with the statement that Mr Kobelt pursued his own interests at all times, even when that pursuit was to the detriment of his customers.

[251] What the unchallenged factual findings established was that Mr Kobelt's book-up system enabled him to abuse his position of power to the detriment of his customers.

[252] As has been explained: the circumstances of entry (see *Mr Kobelt's book-up system* at [163]-[164], *Vulnerability* at [165]-[171], *Mr Kobelt's actions – taking advantage* at [172]-[204], *Effect of the arrangements – tying conduct* at [205]-[207] and *Mr Kobelt's knowledge* at [208]-[210] above); requiring customers to hand over their key card and PIN (see [173] above); Mr Kobelt withdrawing the whole, or nearly the whole, of the available funds by trial and error and deliberately before customers could access their funds by other means (see [180]-[184] above); there being no objective justification for withdrawing all or most of the available funds as soon as they were deposited; Mr Kobelt controlling how much of their funds that his customers could access and what they could spend those funds on (see [185]-[193] above); and there being no transparency (meaning that Mr Kobelt's customers could not hold Mr Kobelt to account (see [172]-[173], [175], [179], [188]-[189], [194]-[197], [202]-[203] and [205]-[207] above)), compel that conclusion.

[253] The conclusion is reinforced by the ways Mr Kobelt carried out the arrangements, not always complying with the terms of his arrangement, and making the withdrawals causing overdrafts in connection with the CBA glitch (see *Mr Kobelt's actions – taking advantage* at [172]-[204], *Effect of the arrangements – tying conduct* at [205]-[207] and *Mr Kobelt's knowledge* at [208]-[210] above. See in particular at [182]-[184] above). Contrary to the Full Court's conclusion (cf *Kobelt (FC)* (2018) 352 ALR 689 at 729 [222], 754 [362]), s 12CC(1)(j)(iv) *requires consideration* of the post-contractual conduct of the parties.

(iv) Tying
[254] Mr Kobelt's book-up system tied his customers to Nobbys (see [172]-[193], [205]-[207] above). It created a prolonged dependence on Mr Kobelt's exercise of discretion. It placed them in an ongoing and increased position of vulnerability. Mr Kobelt exercised a high degree of control over his customers' funds and expenditure by precluding access to their funds, preventing them from being able to access the necessities of life and making them dependent on his discretion.

[255] "Tying", in various forms, has been the subject of restriction and condemnation for over a century in Australia (see *Australian Industries Preservation Act 1906* (Cth), s 4; *Australian Industries Preservation Act 1909* (Cth), s 5, inserting s 7A into the *Australian Industries Preservation Act 1906*; *Attorney-General of the Commonwealth v Adelaide Steamship Co Ltd* (1913) 18 CLR 30 at 32-39; [1913] AC 781 at 794-801; *Heron v Port Huon Fruitgrowers' Co-operative Association Ltd* (1922) 30 CLR 315 at 323-327; [1922] HCA 20; *Peters American Delicacy Co Ltd v Patricia's Chocolates and Candies Pty Ltd* (1947) 77 CLR 574 at 583, 589-591; [1947] HCA 62; *Buckley v Tutty* (1971) 125 CLR 353 at 373, 375-377; [1971] HCA 71; *Queensland Co-operative Milling Association v Pamag Pty Ltd* (1973) 133 CLR 260 at 263-264; [1973] HCA 24; *Amoco Australia Pty Ltd v Rocca Bros Motor Engineering Co Pty Ltd* (1973) 133 CLR 288 at 293-294; [1973] HCA 40; *Peters (WA) Ltd v Petersville Ltd* (2001) 205 CLR 126 at 138-139 [24]-[27]; [2001] HCA 45. See also *Trade Practices Act 1974* (Cth), s 47 and *Competition and Consumer Act 2010* (Cth), Sch 1, s 47; *Australian Competition and Consumer Commission v Baxter Healthcare Pty Ltd [No 2]* (2008) 170 FCR 16), the United Kingdom (On restraints of trade, see *Nordenfelt v Maxim Nordenfelt Guns and Ammunition Co* [1894] AC 535 at 552; *McEllistrim v Ballymacelligott Co-operative Agricultural and Dairy Society* [1919] AC 548 at 571-572; *Petrofina (Gt Britain) Ltd v Martin* [1966] Ch 146 at 165-166, 173, 177, 180; *Esso Petroleum Co Ltd v Harper's Garage (Stourport) Ltd* [1968] AC 269. The "Truck Acts" in the United Kingdom also prohibited a form of tying: see, eg, *Truck Act 1831* (1 & 2

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Gul IV c 37); *Truck Amendment Act 1887* (50 & 51 Vict c 46); *Truck Act 1896* (59 & 60 Vict c 44); *Truck Act 1940* (UK); *Bristow v City Petroleum Ltd* [1987] 1 WLR 529 at 532; [1987] 2 All ER 45 at 47-48) and 789 the United States (see *Sherman Act of 1890*, 15 USC §1; *Clayton Act of 1914*, 15 USC §14; *Federal Trade Commission Act of 1914*, 15 USC §45; *United Shoe Machinery Corporation v United States* (1922) 258 US 451 at 457; *International Business Machines Corp v United States* (1936) 298 US 131 at 135-136; *International Salt Co Inc v United States* (1947) 332 US 392 at 395-396; *United States v Paramount Pictures Inc* (1948) 334 US 131 at 156-159; *Northern Pacific Railway Co v United States* (1958) 356 US 1 at 5-6; *Jefferson Parish Hospital District No 2 v Hyde* (1984) 466 US 2 at 12-15; cf *Illinois Tool Works Inc v Independent Ink Inc* (2006) 547 US 28 at 34-38). That condemnation, for the most part, arose because the parties did not bargain from a "position of equality" (*Amoco* (1973) 133 CLR 288 at 317; see also at 294. See also *Queensland Co-operative* (1973) 133 CLR 260 at 264, 268, 276; *Paramount Pictures Inc* (1948) 334 US 131 at 162) or because the covenant that tied the purchaser to acquire the seller's products was unreasonable or contrary to the public interest (see, eg, *Buckley* (1971) 125 CLR 353 at 376-378; *Queensland Co-operative* (1973) 133 CLR 260 at 263-264, 267-269, 275; *Amoco* (1973) 133 CLR 288 at 295-296, 305-307, 315-316; *Peters (WA)* (2001) 205 CLR 126 at 139 [27]).

[256] Moreover, the sale of second-hand cars using book-up was itself exploitation (see *Mr Kobelt's book-up system* at [163]-[164], *Vulnerability* at [165]-[171], *Mr Kobelt's actions – taking advantage* at [172]-[204] and *Effect of the arrangements – tying conduct* at [205]-[207] above). Although he refused to acknowledge the price differential at trial, Mr Kobelt required purchasers of cars on book-up to pay significantly more than purchasers with cash (see [175]-[179] above). The sale of second-hand cars meant customers were caught in a vicious circle of indebtedness to Mr Kobelt and then, once locked into the book-up arrangement, customers had limited options to regain control of their funds (see *Mr Kobelt's actions – taking advantage* at [172]-[204] and *Effect of the arrangements – tying conduct* at [205]-[207] above). Their potential options were a cash advance, at Mr Kobelt's discretion and sometimes at a fee of ten per cent, or to request a purchase order, again at Mr Kobelt's discretion, at a cost of $5 or $10 and, even then, several stores in the APY Lands would not accept Mr Kobelt's purchase orders (see [185]-[193] above).

[257] The lack of suggestion of dishonesty on the part of Mr Kobelt does not prevent Mr Kobelt's book-up system being unconscionable. Dishonesty is not required for a finding of unconscionable conduct in equity (see fn 156 and accompanying text). And statutory unconscionability under the ASIC Act is intended to be broader than the unwritten law (see ASIC Act, s 12CB(4)(a) and Australia, House of Representatives, *Competition and Consumer Legislation Amendment Bill 2011*, Explanatory Memorandum at 21 [2.20]). Dishonesty is not required for a finding of unconscionability under s 12CB(1) (see *Paciocco* (2015) 236 FCR 199 at 266 [262]).

[258] Unconscionable conduct in equity can include the passive acceptance of a benefit in unconscionable circumstances (*Bridgewater* (1998) 194 CLR 457 at 479 [76], quoting *Hart* [1985] AC 1000 at 1024; see also at 493 [122]). Mr Kobelt's conduct went beyond that – he engaged in an active system of conduct that, even if approached without dishonest motives or with a "degree of good faith", had the *effect* of being exploitative and unfair. The requirement is still "victimisation or exploitation" by a stronger party of a more vulnerable party (*Kakavas* (2013) 250 CLR 392 at 439-440 [161]). And that was the problem with Mr Kobelt's book-up system.

(v) Values, norms and practices

[259] As Wigney J recognised in the Full Court, the terms, nature and circumstances of Mr Kobelt's book-up system bespoke unconscionability and "[m]any, if not most, members of the broader Australian community would probably find some [790] aspects of the system to be surprising, if not extraordinary" (*Kobelt (FC)* (2018) 352 ALR 689 at 758 [383]). That understates the position. Putting to one side that the majority of Mr Kobelt's customers were financially illiterate Anangu living in a remote, harsh and impoverished part of northern South Australia, in what other circumstances would a small-scale consumer credit provider require, let alone expect, a borrower's assent to terms that, as security for relatively modest advances, the borrower hand over the right to receive the whole of the borrower's meagre monthly income, with not less than half of it to be applied in reduction of the

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loan; the borrower confer on the credit provider an untrammelled discretion as to how much, if any, of the other half should be made available to the borrower for the purchase of life's necessities; and the borrower be tied to purchasing all such necessities from the credit provider at the credit provider's prices, or else pay the credit provider for the privilege of a "purchase order"?

[260] Where else and with what other customer would it be regarded as acceptable that the terms of the arrangement go entirely undocumented; that the credit provider not be required to, and not, render invoices, receipts or reconciliations; and that the credit provider not maintain financial accounts sufficient even for two experienced accountants, who gave evidence at trial, to determine how much had been advanced and how much had been paid? Surely, anywhere else with any other customer, such an arrangement would be regarded as unconscionable. It is no answer to say that the customers were Anangu people. It is no answer to say that the customers agreed.

[261] The plurality in the Full Court considered that it was enough that the customers understood the basic elements of the system and entered into it voluntarily and, either serendipitously or otherwise, derived from it the benefits of alleviating the boom and bust expenditure cycle and the burdens of demand sharing. Wigney J added, in effect, that it was not unconscionable to impose those terms of credit on the customers because of the differences between "the values, norms and practices of the Anangu people who comprised Mr Kobelt's book-up customers" (*Kobelt (FC)* (2018) 352 ALR 689 at 758 [383]) and the norms and practices of "the wider Australian society and its culture and institutions" (*Kobelt (FC)* (2018) 352 ALR 689 at 747 [329]).

[262] That reasoning should be rejected. It does not alleviate the unconscionability of Mr Kobelt's book-up system that his customers were so disadvantaged as to regard Mr Kobelt's offering as acceptable. As the primary judge held, it was the fact that the customers were so significantly disadvantaged, and that Mr Kobelt knew or should have known it to be so, that rendered his conduct unconscionable. Nor is it to the point that the customers may have entered into the scheme voluntarily and without undue influence. Mr Kobelt's book-up system was unconscionable because it took advantage of the customers' vulnerability and special disadvantage. No doubt, Mr Kobelt was in business to make a profit and it cannot reasonably be expected of him that he should have acted as if he were a charity. It is also apparent that there were other traders in the area who provided book-up credit on similar terms and that, apart from book-up, such other forms of credit as were available to the Anangu were limited. It may be, too, that the Anangu liked to go shopping in Mintabie and preferred dealing face-to-face with people like Mr Kobelt to attempting to arrange credit with mainstream credit providers. And it may also be that participating in book-up gave some customers a degree of control over boom and bust expenditure patterns and an excuse to avoid demand sharing requests. But none of that renders Mr Kobelt's conduct any the less unconscionable.

[263] The freedom to make a profit is not a licence to act unconscionably. Nor is an oligopoly of the kind in which Mr Kobelt participated. And the fact that other traders may have behaved in the same unconscionable manner does not excuse it.

(vi) Mr Kobelt's book-up system was not reasonably necessary to protect his legitimate interests: s 12CC(1)(b)

[264] This issue has been addressed. Book-up is not itself unconscionable. The problems were with Mr Kobelt's book-up system and its particular features. Mr Kobelt's system was not reasonably necessary to protect his legitimate interests – there were alternatives (see [219]-[229] above). It may be that, in circumstances of the kind which existed in *Paciocco v Australia & New Zealand Banking Group Ltd*, s 12CB(1) would not be enlivened merely by reason of the content of a [791] condition of a consumer credit contract ((2016) 258 CLR 525 at 586 [185]-[186]). But, even then, it would depend on the circumstances of each case whether the consumer was at a relevant disadvantage to the credit provider and in particular whether the credit provider, by stipulating for a particular condition of the credit contract, should be seen to have taken unconscientious advantage of that consumer. Here, for the reasons already given, there can be no doubt that the Anangu were at a material, relevant disadvantage to Mr Kobelt and that Mr Kobelt took unconscientious advantage of them by

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stipulating for the conditions he did notwithstanding that other, less onerous requirements would have been adequate to protect his legitimate interests. Here, there can be no doubt that s 12CC(1)(b) is applicable and to a significant degree informs the engagement of s 12CB(1).

Conclusion and orders

[265] Mr Kobelt's system of conduct was unconscionable contrary to s 12CB(1) of the ASIC Act.

[GAGELER J dismissed the appeal. KEANE J agreed with Kiefel CJ and Bell J. EDELMAN J agreed with the conclusions and orders of Nettle and Gordon JJ.]

Appeal dismissed with costs.

VITIATING FACTORS: RESCISSION

Chapter 39. Rescission 1131

PART XIC

CHAPTER ***39***

Rescission

[39.10] RESTITUTIO IN INTEGRUM 1131
[39.15] *Alati v Kruger* 1132
[39.25] *Brown v Smitt* 1136
[39.35] *Vadasz v Pioneer Concrete (SA)* 1138
[39.40] BARS TO RESCISSION 1141
[39.45] Can a contract for the sale of goods be rescinded in equity for innocent misrepresentation? 1143
[39.45] *Watt v Westhoven* 1143
[39.60] Can an executed contract be rescinded for innocent misrepresentation? 1145
[39.70] Affirmation 1146
[39.70] *Coastal Estates v Melevende* 1146

[39.05] Rescission is a form of relief. The purpose and effect of rescission is to set aside the contract and, generally, restore the parties to the positions they occupied before the contract was made. In other words, the contract is set aside from the beginning (ab initio) and the parties restored to their original positions (restitutio in integrum). Such relief is available, in appropriate circumstances, to the victims of the following vitiating factors: mistake, misrepresentation, breach of fiduciary duty, duress, undue influence, unconscionable dealing; and under the rule in *Yerkey v Jones* (see Chapters 31, 32 and 34–7). Contracts induced by such factors are said to be *voidable*. However, if restoration of the status quo ante is impossible, the remedy of rescission is not available. Even if such restoration is possible, there may be other bars to rescission.

Rescission is to be distinguished from termination or discharge for breach of contract (see Chapter 21). In this latter instance, the contract is determined *in futuro*, but not so as to discharge rights and obligations arising from partial performance or causes of action accruing from breach.

RESTITUTIO IN INTEGRUM

[39.10] As far as the common law was concerned, rescission, as a general rule, was only allowed in cases of fraud, or duress, or where there was a total failure of consideration; and only if *precise* restitution was possible. Equity, on the other hand, recognised rescission if *substantial* restitution was possible: it could unravel the contract and restore the status quo by appropriate orders and decrees: see *Alati v Kruger* (1955) 94 CLR 216, extracted at [39.15]. Equity, moreover, recognised rescission for innocent misrepresentation, as well as for other vitiating factors such as an undue influence.

At common law, *damages* could be awarded for fraudulent and negligent misrepresentation, but not for purely innocent misrepresentation. Although equity could not award damages for innocent misrepresentation, it could, in granting rescission, award an indemnity, that is, require that the representor indemnify the representee against obligations created by the contract: see *Brown v Smitt* (1924) 34 CLR 160, extracted at [39.25].

Equity also recognises the possibility of partial rescission: see *Vadasz v Pioneer Concrete (SA) Pty Ltd* (1995) 184 CLR 102, extracted at [39.35].

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[39.15] *Alati v Kruger* (1955) 94 CLR 216 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: The plaintiff (the *respondent*) purchased from the defendant (the *appellant*) a fruit business carried on in leasehold premises at Toowong for the price of £700. The respondent alleged that he had been induced to enter into the contract of purchase by a fraudulent misrepresentation as to the takings of the business made by the appellant. The respondent also alleged, alternatively, that in consideration of his entering into the contract and paying the agreed price, the appellant had warranted that the average takings of the business were £100 per week. He claimed rescission of the contract, the return of the purchase money, and damages.

At the trial, the respondent proved the making of the misrepresentation, and that he had relied upon it. It was in the form of a statement contained in the contract itself that the average takings were £100 per week. The trial judge held that this statement was a representation made by the appellant to the respondent at the time when the form of contract containing it was presented to the respondent for signature, that the statement was false in fact and that the appellant made it either knowing it to be false or recklessly not caring whether it was true or false.

The relief which the trial judge granted as against the appellant, in addition to a declaration that the contract was lawfully rescinded by the respondent and that all executed copies of it be cancelled, was:

1. an order that the respondent reassign to the appellant a lease of the business premises, which the appellant had assigned to the respondent pursuant to the contract, and deliver to the appellant all other property the subject of the contract;
2. an order that upon such reassignment and delivery the appellant repay to the respondent the £700 purchase money together with interest from the date of payment to the date of repayment;
3. an order that the appellant pay to the respondent as damages the amount of certain conveyancing costs and stamp duty incurred by the respondent in consequence of the contract;
4. an order that the respondent pay a reasonable rental for the period of the respondent's possession of the business and property up to the date of delivering the same to the appellant.

The appellant appealed to the High Court.]

DIXON CJ, WEBB, KITTO and TAYLOR JJ: [221] The contract was dated 7 June 1954, though in fact it was executed two days later. It was on a printed form with typewritten additions. By cl 1 the appellant agreed to sell and the respondent agreed to purchase, for the price of £700, what was described as all the right title and interest of the appellant in and to a certain fruit business carried on on premises and situated at High Street, Toowong, together with the goodwill of the business and the stock-in-trade, fixtures, fittings, plant, trade utensils, implements, licences and quotas used by the appellant in connection therewith as set forth in a schedule, on a walk-in walk-out basis. The schedule mentioned only a counter, fixtures and fittings, and scales, without giving details of any of them. By cl 7 the appellant agreed to assign or cause to be assigned to the respondent the lease or agreement for a lease (if any) or tenancy and obtain the landlord's consent thereto. Clause 20 described the term of the lease or tenancy as three years from July 1953, with the option of a further two years, and stated that the rental was £3 5s per week. Clause 21 was headed in print "21. Special Clause", and it proceeded in typewriting: "Vendor states that the average takings are £100 per week."

On 15 June 1954, the appellant executed in favour of the respondent, and with the consent of the landlords, an assignment of the lease referred to in the contract, the assignment being expressed to take effect as from 16 June 1954. On or about the latter date, which was a Wednesday, the respondent took over the running of the business. He had had no previous experience in such a

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business, and the learned trial judge has found that this fact was in the knowledge and contemplation of the appellant. Moreover, a new competing business, called a "super-market", was about to be opened in premises opposite, and this also, his Honour has found, was a fact known to the appellant. The respondent carried on the business without being guilty of any default, and indeed if anything on his part contributed to the deterioration which subsequently occurred it was only his inexperience.

[222] The takings proved immediately to be much less than £100 per week. The three remaining days of the week in which the respondent commenced to run the business brought in only £24 4s 9d and the following week, ending on 26 June 1954, only £44 12s 1d. At the end of the latter week the respondent consulted his solicitors.

On the footing which must be accepted, that the contract had been induced by a fraudulent representation made by the appellant to the respondent, the latter had a choice of courses open to him. He might sue for damages for breach of the warranty contained in cl 21, for the statement in that clause clearly formed one of the terms of the contract and was not only a representation; but he could not do this and rescind the contract for misrepresentation. Secondly, he might sue to recover as damages for fraud the difference between the price he had paid and the fair value of the property at the time of the contract (*Holmes v Jones* (1907) 4 CLR 1692), but that again would involve affirming the purchase. Or, thirdly, provided that he was in a position to restore to the appellant substantially that which he had received under the contract, he might avoid the purchase and sue to recover his purchase money back from the appellant, with interest and also with damages for any loss which he may have suffered through carrying on the business in the meantime: compare *Salmond and Williams on Contracts* (2nd ed, 1945), p 269.

On 29 June 1954, the respondent issued (and presumably served) the writ by which the present proceedings were commenced. Townley J was of opinion that by so doing he elected to adopt the third of the courses available to him. Notwithstanding some ambiguity in the statement of claim indorsed on the writ, this seems clearly enough to be correct … [223] The validity of his rescission depended, therefore, only upon the question whether restitutio in integrum was possible in the circumstances as they existed at the commencement of the action.

Before approaching that question, it will be convenient to mention the events which occurred thereafter. The defence was delivered on 4 August 1954, and issue was joined on the following day. On 10 August 1954, the respondent obtained from the landlords a document under seal whereby they undertook and agreed, for a consideration of 10s, that they would consent to any reassignment of the lease by the respondent to the appellant in the event of the respondent succeeding in his claim for rescission. The trial took place on 29 and 30 September 1954. Up to that time the respondent had continued to carry on the business, languishing though it was, taking never more than £40 in a week and only £7 3s 3d, £11 5s 1d and £14 3s respectively in the last three weeks. In many weeks he made a loss, even without allowing for wages for himself. On 22 November 1954, the judge announced his findings of fact. He then heard further argument on the question of restitutio in integrum and reserved judgment. The respondent still continued to carry on the business for a while, but when the case was called for judgment, on 17 December 1954, the judge was informed before he made his order that the respondent had closed down the business and left the premises, and that the landlord had re-entered. His Honour, however, proceeded to make the order which is the subject of this appeal.

If the case had to be decided according to the principles of the common law, it might have been argued that at the date when the respondent issued his writ he was not entitled to rescind the purchase, because he was not then in a position to return to the appellant in specie that which he had received under the contract, in the same plight as that in which he had received it: *Clarke v Dickson* (1858) EB & E 148; 120 ER 463. But it is necessary here to apply the doctrines of equity, and equity has always regarded as valid the disaffirmance of a contract induced by fraud even though precise restitutio in integrum is not possible, if the situation is such that, by the exercise of its powers, including the power to take accounts of profits and to direct inquiries as to allowances proper to be made for

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deterioration, it can do what is practically just between the parties, and by so [224] doing restore them substantially to the status quo: *Erlanger v New Sombrero Phosphate Co* (1878) 3 App Cas 1218 at 1278, 1279; *Brown v Smitt* (1924) 34 CLR 160 at 165, 169; *Spence v Crawford* [1939] 3 All ER 271 at 279, 280. It is not that equity asserts a power by its decree to avoid a contract which the defrauded party himself has no right to disaffirm, and to revest property the title to which the party cannot affect. Rescission for misrepresentation is always the act of the party himself: *Reese River Silver Mining Co v Smith* (1869) LR 4 HL 64 at 73. The function of a court in which proceedings for rescission are taken is to adjudicate upon the validity of a purported disaffirmance as an act avoiding the transaction ab initio, and, if it is valid, to give effect to it and make appropriate consequential orders: see *Abram Steamship Co Ltd v Westville Shipping Co Ltd* [1923] AC 773. The difference between the legal and the equitable rules on the subject simply was that equity, having means which the common law lacked to ascertain and provide for the adjustments necessary to be made between the parties in cases where a simple handing back of property or repayment of money would not put them in as good a position as before they entered into their transaction, was able to see the possibility of restitutio in integrum, and therefore to concede the right of a defrauded party to rescind, in a much wider variety of cases than those which the common law would recognise as admitting of rescission. Of course, a rescission which the common law courts would not accept as valid cannot of its own force revest the legal title to property which had passed, but if a court of equity would treat it as effectual the equitable title to such property revests upon the rescission.

In the present case, what changes affecting the possibility of restitution had occurred in the short period between 16 June, when the respondent took possession of the business, and 29 June, when he issued the writ? He had had possession of the premises, and although that might have sufficed at common law to preclude rescission (*Blackburn v Smith* (1848) 2 Ex 783 at 792; 154 ER 707 at 711), it could hardly do so in equity, since a money payment could compensate for any difference there might be between the rental value of the premises and the rent paid by the respondent to the landlord. The title to the term created by the lease had been vested in the respondent by assignment, but that was subject to any right which he had to disaffirm the transaction. The title would revest in equity [225] when he elected to rescind, and he was in a position to make a legal re-assignment with the landlord's consent. He had taken over (as he said in evidence) about £20 worth of stock, but while of course he could not restore that to the appellant in specie he could pay or allow for its value, and nothing more could in justice be required. The business itself had deteriorated but this would not matter, for, as the trial judge has found, it was not due to any fault on the respondent's part, and even at common law the necessity to return property in its original condition was qualified so as to allow for incidents for which the buyer was not responsible, such as those to which the property was liable either from its inherent nature (compare *Newbigging v Adam* (1886) 34 Ch D 582 at 588; *Adam v Newbigging* (1888) 13 App Cas 308 at 330) or in the course of the exercise by the buyer of those rights over it which the contract gave: *Head v Tattersall* (1871) LR 7 Exch 7 at 12. No other change had occurred. The case was therefore typical of the class of cases in which a defrauded purchaser is regarded by a court exercising equitable jurisdiction as entitled to rescind the purchase and obtain a decree, on proper terms, declaring and giving effect to the rescission as an avoidance of the transaction from the beginning.

There remains, however, the question whether the respondent lost his right to such a decree by his conduct in discontinuing the business and leaving the premises before judgment was given in the action. The remedy is discretionary (*Story on Equity* (3rd English ed, 1920), pp 293, 294, 295), and if the respondent had acted unconscientiously during the pendency of the action, as by causing the loss of a valuable leasehold and goodwill by discontinuing the business and abandoning the premises without giving the appellant a reasonable opportunity to take them back, no doubt the court might refuse relief. But nothing of that kind happened. The term was, of course, still vested at law in the respondent, and it is not impossible that, despite low takings and actual losses, the business had some residual goodwill. But it is impossible to convict the respondent of any unfairness in the circumstances. The service of the writ had given the appellant clear notice that if the case

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alleged against him were made out at the trial the business and the lease would be held to have been his all along. He knew from the judge's announcement of his findings that in fact the issues of fact in the case had gone against him. He could have applied for the appointment by the court of a receiver and manager to preserve the property pending the determination of the case, but he made [226] no such application. He did not even make any offer to the respondent to take the property back or suggest any modus vivendi. He took his chance, contenting himself with such maintenance of the business as the respondent's continuing conduct of it might afford. But the respondent was under no duty to go on indefinitely, work for nothing and incurring losses, especially after the judge had announced findings of fact in his favour. It does not appear from the material before us whether he gave the appellant any specific warnings of his intention to give up the business and leave the premises, but, even if he did not, the appellant had ample opportunity to protect his interests, and his inaction is far more likely to have been due to an opinion that neither the lease nor the business was worth worrying about, particularly in view of the competition which the "super-market" had created, than to any expectation that the respondent would obligingly continue to act as an unpaid manager.

For these reasons the appeal must fail. It is desirable, however, to make one or two variations in the judgment of the Supreme Court, because, as framed, it makes the respondent's right to be repaid his purchase money conditional upon his re-assigning the lease to the appellant and delivering to the appellant all other property the subject of the contract. The lease cannot now be re-assigned, and the other property referred to would include the stock-in-trade which obviously cannot now be returned, and the chattels referred to in the schedule to the contract which now may or may not be available for redelivery. The judgment should therefore be varied so as to order the plaintiff to return to the defendant Alati such of the chattels mentioned in the schedule to the contract as he is able to return, and to order the defendant to repay to the plaintiff the balance of the purchase money (£700) and interest thereon which shall remain after deducting the value as at the date of the contract of such of the scheduled chattels as the plaintiff cannot return, the value as at that date of the stock-in-trade which the plaintiff received from the defendant under the contract, the damages awarded in the judgment of the Supreme Court, and any amount which ought to be allowed in the defendant's favour in respect of the plaintiff's use of any of the property comprised in the contract …

In the result the judgment of the Supreme Court should be varied in the manner described, and the appeal should be dismissed. The application for special leave to appeal should be refused.

[FULLAGAR J delivered a short judgment in which he reached the same conclusion.]

Judgment of Supreme Court upheld subject to variations; appeal dismissed.

[39.20] Note

In *Kramer v McMahon* [1970] 1 NSWR 194 at 207, Helsham J said:

> where the rescinding act of a party to the contract does not for one reason or another bring about restitutio in integrum (and it is necessary to have an order of the court to bring this about) then rescission will not be regarded as effective unless the court through its powers can order that which the party was unable by his own power to effect; by the ability of the court to make an order his duty is discharged. Rescission is the act of the party. It is valid if it effects restitutio or if with the aid of the court when sought it effects restitutio; it is not if the aid of the court is necessary but for one reason or another that aid cannot be summoned.

Brown v Smitt

[39.25] *Brown v Smitt* (1924) 34 CLR 160 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: Smitt (the *plaintiff*) commenced an action against Brown (the *vendor/defendant*) in which he sought to have a contract to sell a farm and buildings rescinded on the ground that Brown had induced him to enter it by making certain false representations. These representations were:

1. that the farm was a first-class dairying property;
2. that the soil was of good quality and was volcanic soil;
3. that 120 acres of the land had been cleared.

Smitt had paid £755 9s under the contract, had gone into possession of the farm and had incurred various expenses in connection with it. These expenses were alleged to amount to some £984 and were in respect of work, labour and materials for working, repairing and improving the farm, loss and depreciation of stock and expenses of moving to the farm and droving. He also had received £130 in income from the farm. Smitt therefore sought to recover the £755 9s and also £854, the balance of expenses incurred over income.

Mann J made an order rescinding the contract and ordered Brown to repay the £755 9s paid under the contract and also the sum of £175 by way of compensation. This sum was arrived at by crediting Smitt with £345 in respect of "compensation for expenditure occasioned by the contract" and debiting him with £130, the gross amount received by him from business conducted on the farm during his occupation, and a further sum of £40 which was allowed to Brown as compensation for the fact that when he got the property back it would be too late to plant a hay crop. Brown appealed.]

KNOX CJ, GAVAN DUFFY and STARKE JJ: [164] No one disputed that the plaintiff is entitled to repayment of the sum of £755 9s if the contract is rescinded, but we have to consider what further relief ought to be granted to him. The parties being relieved of the contractual obligations, each must give back all that he obtained under the contract. Where the property the subject matter of a contract remains unchanged, no difficulty arises. Where it has been wholly or substantially destroyed by the default of the party seeking rescission, there can be no rescission because there can be no restitution. But where the property has been improved or deteriorated by the act of the purchaser, and yet remains in substance what it was before the contract, equity adjusts the rights of the parties by awarding money compensation to one or the other, and so substantially putting each party in the position which he occupied before the contract was made. Lord Blackburn in *Erlanger's* case (1878) 3 App Cas 1278-9, said:

> It would be obviously unjust that a person who had been in possession of property under the contract which he seeks to repudiate should be allowed to throw that back on the other party's hands without accounting for any benefit he may have derived from the use of the property, or if the property, though not destroyed, has been in the interval deteriorated, without making compensation for that deterioration … And … the practice has always been for a court of equity to give this relief whenever, by the exercise of its powers, it can do what is practically just, though it cannot restore the parties precisely to the state they were in before the contract.

[165] It would be no less unjust, however, that a person whose fraud or misrepresentation had induced the contract should be allowed to take back his property, with permanent and lasting improvements upon it made by the other party, without making any allowance for those improvements, which increased the sale value of the estate in his hands. The decision of Lord Eldon in *Edwards v M'Leay* (1818) 2 Swans 287; 36 ER 625, is a distinct authority for the proposition that necessary repairs may be allowed in such cases; and the textbooks unanimously, we think, support the view we have taken: see Sugden's *Vendors and Purchasers* (14th ed), p 254; Dart's *Vendors and Purchasers* (7th ed), p 811, and Williams' *Vendor and Purchaser* (3rd ed), p 815, n (u), pp 816–7. This doctrine however, would not

Brown v Smitt cont.

justify improving the vendor out of his estate, as is the phrase in the books, or rendering it impossible for him to recover his estate. Rescission in such a case would be impossible, and restitution out of the question. Again, allowances for improvements which were matters of taste or personal enjoyment could not be justified: see *Mill v Hill* (1852) 3 HLC 828; 10 ER 330; *Stepney v Biddulph* (1865) 13 WR 576; *Kerr on Fraud and Mistake* (4th ed), p 372. Nor will allowances be given for improvements made after the party making them knows, or has reasonable notice, of the defect in title. He must then take the risk. And putting the parties in the position they were in before the contract, replacing them in statu quo, does not involve replacing [166] them in the same position in all respects, but only in respect of the rights and obligations created by the contract which is rescinded. A party in case of rescission, cannot ask the court to award him compensation for all collateral losses which he may have sustained by reason of the fact that he entered into the contract, such as losses incurred in carrying on a business (*Newbigging v Adam* (1886) 34 Ch D 582; *Whittington v Seale-Hayne* (1900) 82 LT 49), but only such compensation as will restore the status quo ante in relation to the subject matter of the contract. Such losses could, in this case, only be recovered in an action of deceit. That cause of action, if included in the statement of claim, was not relied on below, and in any event it seems to us that it was the contract, and not, in a legal sense, the establishment of the business which the fraudulent representations induced.

Now, it is clear, from the evidence and from the judgment of Mann J that he made allowances for some improvements on the property sold, not permanent in their nature, and also for some collateral losses incurred in connection with a business which the plaintiff carried on upon the property. It is manifest, therefore, that the sum of £175 allowed by the learned judge as compensation is erroneous; and cannot be sustained. We are quite unable, on the evidence, to assess the proper amount, and in any case an account on familiar lines is much more desirable than the method adopted in the court below.

[ISAACS and RICH JJ delivered a joint judgment in which they dissented from the proposition that the purchaser could recover as compensation the value added to the land by reason of permanent improvements.

In the course of their judgment their Honours said (at 170): "True, the vendor gets these improvements without paying for them. But he is not asking for them, and he is not bound to purchase them. Annulling one contract does not justify creating another; and, without another contract, what justification exists for compelling the vendor defendant to pay the value of the improvements?"]

Order of Supreme Court varied.

[39.30] Note

In *Newbigging v Adam* (1886) 34 Ch D 582, referred to in the principal case, Bowen LJ made the following statement (at 592–3):

> It is said that the injured party is entitled to be replaced in statu quo. It seems to me that when you are dealing with innocent misrepresentation you must understand that proposition that he is to be replaced in statu quo with this limitation, that he is not to be replaced in exactly the same position in all respects, otherwise he would be entitled to recover damages, but is to be replaced in his position so far as regards the rights and obligations which have been created by the contract into which he has been induced to enter.

Vadasz v Pioneer Concrete (SA)

[39.35] *Vadasz v Pioneer Concrete (SA) Pty Ltd* (1995) 184 CLR 102 (High Court of Australia) – Appeal from the Supreme Court of South Australia.

[FACTS: Vadipile Drilling Pty Ltd (*Vadipile*) carried on the business of a foundation piling contractor. Mr Vadasz (the *appellant*) and his wife were the only shareholders in the company. Pioneer Concrete (SA) Pty Ltd (*Pioneer*, the *respondent*) manufactured ready-mixed concrete and supplied Vadipile with concrete. By July 1992, Vadipile owed Pioneer more than $200 000. In order to avoid the cessation of future supplies of concrete, Vadasz agreed to give Pioneer a personal guarantee, and Pioneer agreed to continue supplying concrete to Vadipile on credit. Before he signed the guarantee in August 1992, Vadasz was told the guarantee would only cover future debts of Vadipile. Pioneer made further deliveries, and Vadipile incurred further debts. The guarantee in fact provided, as Pioneer intended, for the payment of "all monies which are now or may at any time" be owing by Vadipile. In November 1992, Pioneer sued Vadasz on the guarantee for $357 427, representing the total indebtedness of Vadipile. Vadasz defended the claim on the basis that the guarantee was unenforceable because the agreement Vadasz made was that he would guarantee Vadipile's future indebtedness, not past indebtedness.

The trial judge held that Vadasz was entitled to avoid liability, but on the basis that "he who seeks equity must do equity", only in respect of past indebtedness. Vadasz's appeal to the Full Court was dismissed. On appeal to the High Court, the court dealt with the matter on the basis that fraud on the part of Pioneer should be assumed, without making a positive finding in that respect.]

THE COURT: [110] The only question on the appeal to this Court is whether the trial judge was entitled to order rescission on a footing which left the appellant liable to the respondent for the debts incurred by Vadipile after the guarantee was signed.

In this context it should be remembered that the trial judge held that the appellant was "entitled to equitable relief on the ground of the [respondent's] misrepresentation". And his Honour held that the respondent was entitled in equity … to enforce the appellant's liability under the guarantee for future indebtedness. Had the appellant sought to rely on the common law, he would not have been entitled to rescission because the contract did not remain completely executory and "because he was not then in a position to return to the [respondent] in specie that which he had received under the contract, in the same plight as that in which he had [111] received it" (*Alati v Kruger* (1955) 94 CLR 216 at 223). Complete restitution was not and is not possible in the circumstances of the present case where the consideration which moved from the respondent to the appellant was, in the words of the guarantee, the respondent's "having agreed or agreeing to sell goods … or giving credit" to a company owned by the appellant and his wife and where, in reliance upon the guarantee, the respondent in fact supplied on credit to that company, which was or became insolvent, large quantities of concrete which have been used and cannot be returned. That being so, the assumption of fraud does not avail the appellant at common law.

Thus we are very much in the realm of equity. (Strictly speaking, where there is fraudulent misrepresentation equity is exercising its concurrent jurisdiction and where there is innocent or negligent misrepresentation equity is exercising its auxiliary jurisdiction: see Meagher, Gummow and Lehane, *Equity: Doctrines and Remedies*, 3rd ed (1992) pp 656-8.) Indeed, as we followed the argument, the appellant did not really seek to attack the conclusion of the trial judge and the Full Court that the appropriate relief in the circumstances of the present case is equitable in its nature in the sense that its origins can be traced to the old Court of Chancery. The appellant's case is that the appropriate equitable relief was the unconditional rescission or setting aside of the guarantee in its entirety. In that respect it is useful to have regard to what was said by Mason J in *Commercial Bank of Australia Ltd v Amadio* (1983) 151 CLR 447 at 461:

> Historically, courts have exercised jurisdiction to set aside contracts and other dealings on a variety of equitable grounds. They include fraud, misrepresentation, breach of fiduciary duty, undue influence and unconscionable conduct. In one sense they all constitute species

Vadasz v Pioneer Concrete (SA) cont.

> of unconscionable conduct on the part of a party who stands to receive a benefit under a transaction which, in the eye of equity, cannot be enforced because to do so would be inconsistent with equity and good conscience.

Where, as in this case, the court has granted equitable relief in the shape of rescission of a contract, the result is to set aside the contract ab initio. While equity followed the law in requiring restitution as a condition of rescission where the contract had been wholly or partly executed, it allowed greater flexibility in the basis upon which restitution and accounting between the parties may be ordered. Thus, equity did not require complete restitution of the position which existed before the contract but allowed its remedies, particularly an order for monetary accounts, to be utilised to achieve practical restitution and justice. That point was made by Dixon CJ, Webb, Kitto and Taylor JJ in *Alati v Kruger* (1955) 94 CLR 216 at 223-4:

> [112] If the case had to be decided according to the principles of the common law, it might have been argued that at the date when the respondent issued his writ he was not entitled to rescind the purchase, because he was not then in a position to return to the appellant in specie that which he had received under the contract, in the same plight as that in which he had received it: *Clarke v Dickson* (1858) El Bl & El 148;120 ER 463. But it is necessary here to apply the doctrines of equity, and equity has always regarded as valid the disaffirmance of a contract induced by fraud even though precise restitutio in integrum is not possible, if the situation is such that, by the exercise of its powers, including the power to take account of profits and to direct inquiries as to allowances proper to be made for deterioration, it can do what is practically just between the parties, and by so doing restore them substantially to that status quo.

In the present case, the appellant obtained the benefit which he sought as consideration for entering the contract of guarantee, namely, the subsequent supply on credit by the respondent of goods to Vadipile. In those circumstances, a practical restoration of the status quo which existed before the execution of the guarantee and the subsequent supply of goods on credit by the respondent would involve not only a cancellation of the appellant's obligations under the guarantee but either a return of the goods subsequently supplied by the respondent or the actual payment, either by Vadipile or the appellant, of an amount equivalent to the value of the goods which were subsequently supplied in reliance upon the appellant's guarantee of payment of their price.

However, the appellant does not offer to pay the respondent the amount which Vadipile has failed to pay for those subsequently supplied goods. Nor does he offer to submit to terms or conditions which would ensure that the purchase price of those goods, which has not been suggested to exceed their true value, is received by the respondent. As has been said, the appellant seeks to be relieved completely and unconditionally from all liability under the guarantee, leaving the respondent without either its subsequently supplied goods or any payment for them. If such complete and unconditional relief is to be granted, it must be on some basis other than mere entitlement to a practical restoration of the status quo upon rescission or "disaffirmance" of a contract induced by fraud. The only such basis that comes to mind is equity's general jurisdiction, in setting aside contracts and other dealings on equitable grounds, to ensure the observance of the requirements of good conscience and practical justice. Thus in *O'Sullivan v Management Agency & Music Ltd* [1985] QB 428 an exclusive management agreement made by a young composer was [113] set aside by reason of undue influence because of a fiduciary relationship between the parties. The Court of Appeal upheld rescission even though the parties could not be restored to their original position. In their judgments the members of the Court of Appeal pointed out that a contract may be set aside in equity so long as "the court can achieve practical justice between the parties" (*O'Sullivan* [1985] QB 428 at 458, per Dunn LJ) and that "the court will do what is practically just in the individual case" (at 466, per Fox LJ) so long as "it is possible to achieve what is practically just by granting rescission and restitution together with orders for accounts" (at 471, per Waller LJ).

Vadasz v Pioneer Concrete (SA) cont.

In the present case, the consideration provided by the respondent involved the supply of goods upon credit to Vadipile. Any need for restitution arises by reason of Vadipile's insolvency. The respondent points to the fact that goods were supplied on credit in pursuance of its promise given as consideration for the appellant's guarantee and says in effect: "I would not have made further deliveries of concrete to Vadipile and risked non-payment if the appellant had not guaranteed payment for those deliveries." In the way in which the action between the parties was constituted, practical justice is achieved, so the respondent's argument runs, by holding the appellant liable on a money claim for that proportion of Vadipile's debt incurred after the appellant signed the guarantee. As Cussen J noted in *Bank of Victoria Ltd v Mueller* [1925] VLR 642 at 659, in the context of insisting that equity shall be done as a condition of setting aside a guarantee: "This is, of course, something quite different from rectification, although in some cases its effect may be much the same."

The idea of a Court of Equity using the powers to do "what is practically just" was referred to by Lord Blackburn in *Erlanger v New Sombrero Phosphate Co* (1878) 3 App Cas 1218 well over 100 years ago. In contrasting the relief available in law and in equity on rescission of a contract, in particular the ability of equity to take account of profits and make allowance for deterioration of property, his Lordship said (*Erlanger* (1878) 3 App Cas 1218 at 1278-9): "And I think the practice has always been for a Court of Equity to give this relief whenever, by the exercise of its powers, it can do what is practically just, though it cannot restore the parties precisely to the state they were in before the contract."

In using the expression "what is practically just", Lord Blackburn may well have adapted the language of *Lindsay Petroleum Co v Hurd* (1874) LR 5 PC 221 referred to in his judgment. There the Privy Council [114] considered the operation of laches where "it would be practically unjust to give a remedy" (*Lindsay Petroleum* (1874) LR 5 PC 239, referred to by Lord Blackburn in Erlanger (1878) 3 App Cas 1218 at 1279). And in a contemporary edition of Story's *Commentaries on Equity Jurisprudence*, in the context of rescission and specific performance, it was said (Story, *Commentaries on Equity Jurisprudence, as Administered in England and America*, 12th ed (1877), vol 1, par 693):

> [T]he interference of a court of equity is a matter of mere discretion … And in all cases of this sort … the court will, in granting relief, impose such terms upon the party as it deems the real justice of the case to require … The maxim here is emphatically applied — He who seeks equity must do equity.

Referring to Lord Blackburn's judgment, Lord Wright said in *Spence v Crawford* (*Spence* [1939] 3 All ER 271 at 288):

> In that case, Lord Blackburn is careful not to seek to tie the hands of the court by attempting to form any rigid rules. The court must fix its eyes on the goal of doing "what is practically just". How that goal may be reached must depend on the circumstances of the case, but the court will be more drastic in exercising its discretionary powers in a case of fraud than in a case of innocent misrepresentation … The court will be less ready to pull a transaction to pieces where the defendant is innocent, whereas in the case of fraud the court will exercise its jurisdiction to the full in order, if possible, to prevent the defendant from enjoying the benefit of his fraud at the expense of the innocent plaintiff.

Underlying Lord Wright's judgment is the idea that restoration is essential to the idea of restitution and that the "purpose of the relief is not punishment but compensation" (*Spence* [1939] 3 All ER 271 at 289).

In *Amadio* (1983) 151 CLR 447 at 481, Deane J referred to what was said by Cussen J in Mueller in support of the proposition:

> Where appropriate, an order will be made which only partly nullifies a transaction liable to be set aside in equity pursuant to the principles of unconscionable dealing … [T]he order will, in an appropriate case, be made conditional upon the party obtaining relief doing equity.

Vadasz v Pioneer Concrete (SA) cont.

Thus unconscionability works in two ways. In its strict sense, it provides the justification for setting aside a transaction. More loosely, it provides the justification for not setting aside the transaction in its entirety or in doing so subject to conditions, so as to prevent one party obtaining an unwarranted benefit at the expense of the other.

[115] In *Amadio* this Court upheld an order setting aside a mortgage in its entirety where the mortgagors believed they were committing themselves to securing their son's overdraft to a limit of $50 000 and for six months only. The reason for not setting aside the mortgage only to the extent that it involved a liability in excess of $50 000 was that the Amadios would not have entered into the transaction at all, had they known the true financial position of their son (*Amadio* (1983) 151 CLR 447 at 481; see also *Alderton v Prudential Assurance Co Ltd* (1993) 41 FCR 435 at 449, per Heerey J). In the present case it cannot be maintained that the appellant would not have entered into the guarantee had it been confined to the future indebtedness of Vadipile. Rather, the evidence is that he would have done so, if not happily, because it was the only way to secure future supplies of concrete for Vadipile. And, by reason of the guarantee of future debts, the respondent supplied concrete to the value of $170 929.32. In giving the guarantee, the appellant, who was one of two directors and one of two shareholders, was fully aware of the financial position of Vadipile. He stood to benefit personally from the operations of the company.

The appellant suggested that to set aside the guarantee in the present case only to the extent of past indebtedness was an invitation to others to misrepresent the terms of a contract because they would be no worse off than if they had revealed the true position. But that suggestion misconceives the ordinary function of civil remedies, including equitable relief. It may, depending upon whether the respondent would in fact have supplied its goods on the basis of the more limited guarantee which the appellant was prepared to give, be true to say that the orders made by the trial judge and upheld by the Full Court disadvantage the respondent only to the extent that it is unable to enjoy the benefit of its misrepresentation and is required to bear its own costs of the trial. Such a result would not, however, be either surprising or inappropriate. The concern of equity, in moulding relief between the parties is to prevent, nullify, or provide compensation for, wrongful injury. If it appears that the other party would not have entered into the contract at all if the true position were known, the contract may be set aside in its entirety as in *Amadio*.

The appellant is "seeking the assistance of a court of equity and he who seeks equity must do equity" (*Cheese v Thomas* [1994] 1 WLR 129 at 136). The Court must look at what is practically just for both parties, not only the appellant. To enforce the guarantee to the extent of future indebtedness is to do no more than hold the appellant to what he was prepared to undertake independently of any misrepresentation. This approach has been taken in several cases (*Barclays Bank plc v O'Brien* [1993] QB 109. See also *Midland Bank plc v Greene* [1994] 2 FLR 827. The view adopted by Nourse LJ in *TSB Bank plc v Camfield* [1995] 1 WLR 430 at 435-7 to the effect that setting aside is an "all or nothing process" should not be accepted in this country).

[116] … As Olsson J said in the present case (*Vadasz* (1994) 62 SASR 150 at 156): "the practical approach adopted by the learned trial judge was clearly justified, if not demanded, by the situation revealed by the evidence."

Appeal dismissed.

BARS TO RESCISSION

[39.40] Apart from the requirement of substantial restitution, there are several other potential bars to rescission that must be considered:

1. Views differ as to whether the equitable jurisdiction to rescind for innocent misrepresentation applies to contracts for the sale of goods; see *Watt v Westhoven* [1933] VLR 458, extracted at [39.45].
2. There has also been controversy as to whether certain contracts can be rescinded, in the absence of fraud, if they have been executed; see [39.60].
3. Rescission will be barred if the contract has been affirmed by the representee; see *Coastal Estates Pty Ltd v Melevende* [1965] VR 433, extracted at [39.70].
4. The effect of a lapse of time also needs to be considered. Affirmation may be inferred from lapse of time, but it is doubtful whether mere lapse of time is itself an independent bar to rescission. Delay as such will not be a bar to relief in equity but is relevant to the court's exercise of discretion: see *JAD International Pty Ltd v International Trucks Australia Ltd* (1994) 50 FCR 378, 387–8.
5. There has been some doubt as to whether the right to rescind for misrepresentation survives if the representation becomes a term of the contract. The question is whether the representee in such a case is restricted to her or his rights in respect of the breach of contract. In *Academy of Health and Fitness Pty Ltd v Power* [1973] VR 254, Crockett J held that the party induced to enter into a contract by an innocent misrepresentation did not lose the equitable right to rescind by reason of the representation having become a term of the contract that was at no time other than a warranty. This approach has been confirmed by statute in South Australia and the Australian Capital Territory: *Misrepresentation Act 1972* (SA), s 6(1)(a); *Civil Law (Wrongs) Act 2002* (ACT), s 173. For further statutory confirmation, see *Sale of Goods Act 1923* (NSW), s 4(2A)(a) (sale of goods); *Australian Consumer Law and Fair Trading Act 2012* (Vic), s 24(2) (contracts for the supply of goods).
6. The intervention of third-party rights may also bar rescission, although a monetary remedy may then be granted; see *McKenzie v McDonald* [1927] VLR 134, [32.55], and *Hartigan v International Society for Krishna Consciousness Inc* [2002] NSWSC 810.
7. A non-fraudulent representor may be protected by a contractual provision (sometimes called a "merger clause" or "no representations clause"). A clause may say, for example, that the representee has not relied on any pre-contractual statements. As to the effect of such a clause, see *Byers v Dorotea Pty Ltd* (1986) 69 ALR 715, extracted at [33.300]. In South Australia and the Australian Capital Territory, however, legislation requires that a clause that excludes or restricts liability or remedies arising from misrepresentation must pass a reasonableness test: *Misrepresentation Act 1972* (SA), s 8; *Civil Law (Wrongs) Act 2002* (ACT), s 176.
8. Rescission will not usually take effect until the representee has notified the representor of the representee's election to rescind. In *Car & Universal Finance Co Ltd v Caldwell* [1965] 1 QB 525, 551, the English Court of Appeal held that if it is not possible to communicate the decision to the representor, the representee "may still satisfy a judge or jury that he had made a final and irrevocable decision and ended the contract". In that case, the representor was a rogue who had disappeared and it was held to be sufficient that the representee had taken "all possible steps to regain the goods". In Victoria, a statutory provision sets out the circumstances in which a purported rescission of a

consumer contract for the supply of goods will take effect: *Australian Consumer Law and Fair Trading Act 2012* (Vic), s 26.

9. In some cases, rescission for misrepresentation can be claimed as a defence to an action on the contract. In *Academy of Health and Fitness Pty Ltd v Power* [1973] VR 254, Crockett J held that the defence of misrepresentation was sufficient, if proved, to sustain an effective rescission of an executory contract without there having been any further plea or act of disaffirmation. His Honour said (at 256–60):

> Rescission for misrepresentation must always be the act of the party himself: *Alati v Kruger* (1955) 94 CLR 216 at 224. But a disaffirmance may for the first time be stated and communicated to the other party in a writ claiming relief based upon such rescission … But may a defendant for the first time state and communicate his election to disaffirm by a statement of defence written or oral pleaded in an action based upon the contract?
>
> … Repudiation involves the restoration of the other party to the same condition as he was in before, or as far as possible, or at least an ability to make such restoration. If the contract is executed or partly so, reinstatement as far as possible by the defendant is essential to success of the defence. Restoration in fact or ability to make it must, therefore, be pleaded. As restoration or an assertion of an ability to make it is a consequence of a determination to repudiate, a plea of disaffirmation will also be expected to be found in such a defence. But the position is different if the contract is wholly executory. There is then no reason why the defence that pleads misrepresentation should not of itself be sufficient repudiation.

Can a contract for the sale of goods be rescinded in equity for innocent misrepresentation?

Watt v Westhoven

[39.45] *Watt v Westhoven* [1933] VLR 458 (Supreme Court of Victoria, Full Court) – Case Stated.

[FACTS: The *plaintiff* sold and delivered to the *defendant* a motor car for £375 and received payment of £300 of the price. In an action in the County Court to recover the remainder of the purchase money, the defendant counterclaimed for a rescission of the sale and repayment of the purchase money already paid, upon the grounds that she was induced to purchase the car by the misrepresentation of the plaintiff's agent as to the age of the car and as to its original cost. The jury found that the representations complained of were false, that they were not fraudulent and that each of them formed part of the inducement to the purchase. They also found that the purchase price was reasonable and that the car was still substantially in the same condition as when purchased. A case stated, reserved by the trial judge for the opinion of the Full Court, asked whether rescission could be ordered.]

MANN ACJ: [461] The facts provide the typical case which for many years has been the subject of controversy amongst text writers dealing with the subject of misrepresentation. Leaving subsidiary questions aside, that controversy is whether the effects of innocent misrepresentation [462] upon contracts for the sale of goods should be governed by the rules of common law as stated, for example in *Kennedy v Panama etc Mail Co* (1867) LR 2 QB 580, or by the rules of equity as exemplified in *Redgrave v Hurd* (1881) 20 Ch D 1 ….

In my opinion a definite answer can be given to the main question, and it is the answer given by the Full Court of New Zealand in the case of *Riddiford v Warren* (1901) 20 NZLR 572, namely, that the question had been clearly determined by the legislature in these words in s 4 of the *Goods Act*

Watt v Westhoven cont.

1928: "The rules of the common law including the law merchant … and in particular the rules relating to … the effect of misrepresentation … mistake or other invalidating cause shall continue to apply to contracts for the sale of goods."

This language, re-enacted here from time to time, was taken verbatim originally from the English Act of 1893. In my opinion, what the words meant in that Act they mean in the Victorian Acts, and it is idle to suggest that Mr Chalmers the draughtsman, and the distinguished lawyers, including four Law Lords, who formed the select committees upon the English Bill as finally enacted, could in the year 1893 have used the words "the rules of the common law" in any other than their true and technical sense. I adopt with respect all that was said upon this point by the judges of the New Zealand bench in the case abovementioned, and I can give no additional force to their reasons by repeating them.

If the rule of the common law applies to this case, the defendant fails. Unlike the rules in equity, the common law rule is expressed in precise and definite language, and it makes it clear that an innocent misrepresentation by which one party to a contract induces the other party to enter into it is not a ground [463] for rescission at the suit of the latter, unless it was such that there is a complete difference in subject matter between the thing bargained for and that obtained, so as to constitute a failure of consideration: *Kennedy v Panama etc Mail Co* (1867) LR 2 QB 580.

[39.50] GAVAN DUFFY J: [467] I think the question before us can be answered by a consideration of the *Goods Act 1928*. Section 4(2) provides: [His Honour read the subsection.] This, I think, is a legislative pronouncement that apart from the statutory provisions of the Act itself the sale of goods is solely governed by "common law", including the law merchant, and I see no reason to suppose that "common law" is used in any other sense than as meaning the body of law so named which was administered in the common law courts before the Judicature Acts. Even if "common law", in s 4 is to be read as meaning all law in force on the matter when the *Sale of Goods Act 1896* came into operation, I do not think it is open to this court to make the inquiry, however interesting it might be, as to what principles of law were applicable before the *Sale of Goods Act* to a contract of sale of goods induced by innocent misrepresentations such as those found by the jury to have been made by the present plaintiff. In 1890, before the legislation now in the *Goods Act 1928* was in force in Victoria, the Full Court of this court decided *Picturesque Atlas Co Ltd v Phillipson* (1890) 16 VLR 675, an action arising out of a contract for the sale of a book in parts; and Higinbotham CJ, delivering the judgment of the court, in stating the law relating to innocent misrepresentation adopted the doctrine as enunciated in *Kennedy v Panama etc Mail Co.*

[LOWE J delivered a concurring judgment.]

Question answered accordingly.

[39.55] Notes

1. For the equivalent of s 4(2) of the Victorian *Goods Act 1958*, see: *Sale of Goods Act 1954* (ACT), s 62(1); *Sale of Goods Act 1923* (NSW), s 4(2); *Sale of Goods Act* (NT), s 4(2); *Sale of Goods Act 1896* (Qld), s 61(2); *Sale of Goods Act 1895* (SA), s 59(2); *Sale of Goods Act 1896* (Tas), s 5(2); *Sale of Goods Act 1895* (WA), s 59(2).
2. In *Graham v Freer* (1980) 35 SASR 424, the Full Supreme Court of South Australia declined to follow the principal case. The court ruled (in the context of a contract for the sale of a ship) that "common law" in the relevant section included "equity" and that the section did not take contracts for the sale of goods outside the general rule that contracts are voidable for innocent misrepresentation.

3. In some jurisdictions, the relevant legislation specifically provides that it shall not affect any remedy in equity in respect of a misrepresentation: *Sale of Goods Act 1923* (NSW), s 4(2A); *Sale of Goods Act 1954* (ACT), s 62(2). In Victoria, the *Australian Consumer Law and Fair Trading Act 2012* (Vic), s 24 specifically provides for rescission of a consumer contract for the supply of goods on the basis of an innocent misrepresentation.

Can an executed contract be rescinded for innocent misrepresentation?

[39.60] In *Vimig Pty Ltd v Contract Tooling Pty Ltd* (1986) 9 NSWLR 731, Wood J considered whether a contract for the sale of a business which had been completed could be rescinded for innocent misrepresentation. Wood J said (at 733):

> It was common ground that since the contract had been executed and carried into completion, the plaintiff could only succeed if *Seddon v North Eastern Salt Co Ltd* [1905] 1 Ch 326 was distinguished or not followed … The rule in *Seddon's* case, as it is sometimes referred to, was … restated by McCardie J in *Armstrong v Jackson* [1917] 2 KB 822 at 825:
>
> > But if the contract has been executed by the completion of a conveyance or lease, or the formal assignment of a chattel, then rescission cannot be obtained on the ground of innocent misrepresentation by the vendor or lessor. When the contract is so completed, fraud must be proved before rescission can be granted: see *Wilde v Gibson* (1848) 1 HLC 605 at 632, per Lord Campbell; *Seddon v North Eastern Salt Co* and *Angel v Jay* [1911] 1 KB 666.

After extensive review of the authorities, Wood J concluded (at 737):

> Although there is a substantial body of academic opinion mounted against the rule in *Seddon's* case, and judicial doubt has been entertained in relation to it, I share the approach of McLelland J in *Kramer v Duggan* in concluding that as a judge at first instance I should not depart from it. In particular, I have regard to the fact that some 80 years have now passed since the decision of Joyce J, during which the relevant passage, although criticised, has largely been accepted as representing the law … Accordingly … I conclude that I should approach this aspect of the case on the basis that the rule does exist to preclude rescission for innocent misrepresentation of an executed contract.

[39.65] **Notes**

1. The rule in *Seddon's* case is not highly regarded. It has been abolished in South Australia and the Australian Capital Territory and modified in Victoria and New South Wales: *Misrepresentation Act 1972* (SA), s 6(1); *Civil Law (Wrongs) Act 2002* (ACT), s 173(1)(b)(ii); *Australian Consumer Law and Fair Trading Act 2012* (Vic), s 24(1) (consumer contracts for the supply of goods); *Sale of Goods Act 1923* (NSW), s 4(2A)(b) (sale of goods).
2. See further *Solle v Butcher* [1950] 1 KB 671 extracted at [31.60] and *Svanosio v McNamara* (1956) 96 CLR 186 extracted at [31.100]. "Absent fraud, equity would not order rescission of the contract of sale after conveyance": in *Krakowski v Eurolynx* (1995) 183 CLR 563, 585 per Brennan, Deane, Gaudron and McHugh JJ.

Affirmation

Coastal Estates v Melevende

[39.70] *Coastal Estates Pty Ltd v Melevende* [1965] VR 433 (Supreme Court of Victoria, Full Court) – Appeal from the County Court.

[FACTS: In September 1960, the plaintiff (the *purchaser*) was induced by fraudulent misrepresentations to purchase land from the defendant (the *vendor*) by way of an instalment contract. He paid a deposit and instalments. He never in fact entered into possession. Although he became aware of the falsity of some of the representations in early 1961, he made payments under the contract and tried to sell the land or renegotiate with the defendant. He was not aware of the right to rescind until he consulted his solicitor in September 1962. Shortly after, he brought an action in the County Court claiming return of the money. Between consulting the solicitor and commencing action, he paid rates which were due. His action in the County Court succeeded; the defendant appealed.]

ADAM J: [451] What is affirmation which deprives a party of a right of rescission in these circumstances? The right to rescind for misrepresentation may be lost in a variety of ways, some depending on the principle of election, others not. Once a representee has, by discovery of the truth, been put to his election, he will of course lose his right to rescind once he has elected not to rescind. Once he has made his election, he cannot resile from it. But not only will a party lose any right to elect in favour of rescission [452] by reason of his once having elected to affirm, he may apart altogether from this principle of election lose his right to rescind before he has made any election. He may lose his right of avoidance where by reason of his own conduct, or of other circumstances, it would be unjust or inequitable that he retain any right to elect. One example is where third parties have acquired rights under the contract which would be defeated by an avoidance of the contract. Another example is where a rescission would be unjust to the representor because it has become impossible to restore him to the position in which he was at the making of the contract. Restitutio in integrum is not only a consequence of rescission, its possibility is indispensable to the right to rescind. Again delay in electing to rescind may make it unjust to others that the right to elect continue. For this reason the right of rescission for misrepresentation in general must be promptly exercised in transactions regarding company shares.

In my opinion, affirmation as a defence to a claim to rescind a contract rests on the principle that having elected to adhere to a contract after discovery of the falsity of the representations inducing it, the right to rescind is lost. In other words affirmation is the determination of an election by affirming the contract.

Affirmation may take the form of an express communication from the representee that he has elected to treat the contract as binding, or conduct of his in relation to the contract or its subject matter from which the proper inference is that he has so elected. Where in addition to knowing all material facts, which would entitle him to avoid the contract, the representee is aware also that he has the choice open either to avoid or to affirm, it is a question of fact whether his conduct evidences a determination of his election. Before he will be held to have elected his conduct must be unequivocal. More difficult problems arise where the representee, while knowing the facts which in law give him the choice to avoid or affirm, is in fact unaware that he has any choice in the matter. In such a case it would seem on principle that no question can arise of his having made an election. In the nature of things how can one elect between alternative courses, unless one is aware that alternative courses are open? In other branches of the law, where questions of election arise, for example, under the Workers' Compensation Acts (see *Dey v Victorian Railway Commissioners* (1949) 78 CLR 62) or under the well-known equitable doctrine of election as between estates, actual knowledge of the existence of the right to elect as between alternatives has been considered essential. The relevance of such knowledge where the right of election arises in cases of contracts induced by misrepresentation is more obscure.

Coastal Estates v Melevende cont.

There are not wanting in the authorities statements to the effect that a party may effectually elect to affirm a contract, although unaware that he has any option to avoid it, and that knowledge of his right to elect upon discovery of fraud will be conclusively presumed: see, for example *O'Connor v SP Bray Ltd* (1936) 36 SR (NSW) 248; *Evans v Benson & Co* [1961] WALR 13; Ewart, *Waiver Distributed among the Departments Election, Estoppel, Contract, Release* cited in *Elder's Trustee and Executor Co Ltd v Commonwealth Estates Pty Ltd* (1941) 65 CLR 603 at 618. Furthermore in many of the cases the test whether a representee has affirmed a contract after discovery of the fraud which induced him to enter into it, is stated to be whether he has so acted as to show unequivocally that he elected to treat the contract as binding without any discussion of the relevance of his knowledge or absence of knowledge of his right to elect: see, for example *Scarf v Jardine* (1882) 7 App Cas 345 at 361; *Abram Steamship Co Ltd v Westville Shipping Co Ltd* [1923] AC 773; *Brown v Smitt* [1924] VLR 333; *Watson v Burton* [1956] 3 All ER 929, and *Tropical Traders v Goonan* (1964) 37 ALJR 497 at 500.

The conclusion I have reached after considering the foregoing and other authorities which were cited to us – particularly the leading case of *Clough v London and North Western Railway Co* (1871) LR 7 Exch 26 – is that the ultimate question to be answered in cases where affirmation is relied upon as a defence to a rescission is whether the representee has after discovery of the falsity of the relevant misrepresentations, in truth elected to affirm the contract and thereby elected not to avoid it. Because the making of an election necessarily presupposes a knowledge that a choice between alternative courses is open, in general, no question of affirmation can arise in the absence of such knowledge. There appears, however, to be one important qualification upon this. If a representee, after discovery of the facts which entitle him to avoid a contract, exercises, in an unequivocal manner, rights under the contract adversely to the other party he will in general be deemed to have elected to affirm it, although not aware of his right to elect. In the case of a representee unaware of his right of election there is, I consider, a distinction to be drawn between acts done by him in exercise of rights under the contract adversely to the other party which, were the contract not on foot, could not be justified, and acts which do no more than show that the representee recognised the contract as still subsisting, but are not prejudicial or adverse to the other party. Such a distinction may be explained as an application of the doctrine of estoppel, or of the rule against approbating and reprobating, or perhaps more broadly on general considerations of justice. Strictly speaking I would think that the so-called affirmation without knowledge of any right to elect should be regarded as an example of the loss of a right to rescind apart from the principle of election, and that it tends only to confusion to treat it as of the same species as a true election to affirm …

[454] I do not find these conclusions inconsistent with any of the authorities binding on this court. The foregoing observations are applicable in this case because on the evidence it seems proper to infer that the purchaser was in fact unaware that he had any right to repudiate the contract until he consulted his solicitors in September 1962 just prior to commencement of these proceedings. Indeed if, as I think, the ultimate onus of establishing all elements of the defence of affirmation rests on the representor, it would be sufficient perhaps to say that the evidence fails to establish affirmatively that the purchaser had sufficient knowledge of his rights at any relevant time. This being so the question is not whether the purchaser, after discovery of the facts, did any act which recognised the continued existence of the contract but any act in exercise of his contractual rights adversely to the vendor. The payment of instalments of purchase money merely discharged an obligation which the purchaser supposed to be irrevocably binding on him. It certainly did not amount to the exercise of any contractual right by him adversely to the vendor; the payment of rates stands in no different position. In any case the payment in 1962 was made after the purchaser had elected to rescind, and the negotiations with the vendor for release from or variations of the contract would seem to carry the matter no further.

No doubt had it been proved that the purchaser was actually aware that he could, if he chose, have repudiated the contract for fraud, his conduct after knowledge of the fraud in paying instalments of purchase money would have provided most cogent evidence of a considered affirmation by him

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of the contract and precluded his later rescinding it; but any such inference of actual election it is impossible to draw in the absence of any such awareness of his rights.

[HERRING CJ and SHOLL J delivered judgments to similar effect.]

Appeal dismissed.

[39.75] **Note**

Contrary to the approach adopted in the principal case, there is authority for a general rule that where knowledge is necessary to make an election effective, it is *knowledge of facts giving rise to the right to elect*, not knowledge of the right itself, which must be proved: *Re Hoffman* (1989) 85 ALR 145. On the other hand, it has been suggested by Priestley JA that where election does not apply because of ignorance of the right, an estoppel may operate against the party with the right of election: see *Hawker Pacific Pty Ltd v Helicopter Charter Pty Ltd* (1991) 22 NSWLR 298, extracted at [34.50].

VITIATING FACTORS: ILLEGALITY

PART XID

Chapter 40. Contracts prohibited by statute 1151

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CHAPTER ***40***

Contracts prohibited by statute

[40.10] THE DRASTIC EFFECT OF PROHIBITION 1151
[40.15] *Bradshaw v Gilbert's (Australasian) Agency (Vic)* 1151
[40.30] MODERN RELUCTANCE TO FIND PROHIBITION 1153
[40.35] *Yango Pastoral Co v First Chicago Australia* 1154
[40.45] *Master Education Services v Ketchell* 1162
[40.55] INVALIDITY ON THE GROUNDS OF PUBLIC POLICY 1165

[40.05] A contract as made, or as performed, may involve violation of provisions of a statute or regulation. Where the statute does not expressly prohibit the making of the contract, but the contract as made or performed involves the violation of a statutory provision, the court must determine whether the contract is impliedly prohibited by the statute. This is a question of construction that turns on the particular provisions and the scope and purpose of the statute. Has the legislation impliedly prohibited the contract? Was the legislature intending merely to penalise specified conduct or was it intending to deprive of legal effect a contract associated with the conduct? If the latter, an action to enforce the contract may be met with the defence of illegality. Should both parties be deprived of a right to enforce the contract, however, or only the party responsible for the violation? This chapter considers examples of how the courts have answered these questions. The consequences of illegality will be further considered in Chapter 42.

THE DRASTIC EFFECT OF PROHIBITION

[40.10] If a contract is held to be prohibited by statute, the drastic consequence follows that the contract is unenforceable by either party. Such drastic consequences are justified on the grounds of public policy, as Lord Mansfield explained in *Holman v Johnson* (1775) 1 Cowp 341, 343; 98 ER 1120, 1121:

> The objection that a contract is immoral or illegal as between plaintiff and defendant, sounds at all times very ill in the mouth of the defendant. It is not for his sake, however that the objection is ever allowed, but it is founded in general principles of policy, which the defendant has the advantage of contrary to the real justice, as between him and the plaintiff, by accident, if I may say so.

In the following case, the High Court considered whether a statutory prohibition of a particular class of sale had the consequence that a purported sale in breach of it was void.

Bradshaw v Gilbert's (Australasian) Agency (Vic)

[40.15] *Bradshaw v Gilbert's (Australasian) Agency (Vic) Pty Ltd* (1952) 86 CLR 209 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: In January 1949, Gilbert's Agency (the *respondent*) agreed to sell to Bradshaw (the *appellant*) 127 tons of battery scrap lead, together with export licence, at the price of £98 per ton. The parties contemplated that the lead would be exported. At this time battery scrap was a declared commodity

Bradshaw v Gilbert's (Australasian) Agency (Vic) cont.

within the *Prices Regulation Act 1948* (Vic) (the *Act*). The Act provided that battery scrap could not be sold in Victoria for more than £22 pounds per ton. Within a matter of days of contracting, it became evident to the appellant that the overseas market for this commodity was deteriorating. He thereupon intimated to the respondent that the transaction would proceed no further, assigning as his reason that the contract constituted a breach of s 25(1) of the Act and was illegal. Section 25(1)(a) of the Act provided that no person should sell or offer for sale any declared goods at a greater price than the maximum price fixed in relation thereto. Section 25(2) provided that, in addition to any other penalty which might be imposed for contravention of s 25(1), the court might order the seller to refund to the purchaser of the goods the difference between the maximum price so fixed and the price at which the goods were sold. Ultimately, the respondent sold the lead to another purchaser at a price which was less by £1,861 than the price which the appellant had agreed to pay. The respondent sued the appellant to recover this difference as damages for breach of contract.

The trial judge, Barry J, found that the Act did not, on its true construction, embrace a contract with respect to goods that were intended for export, so that the contract was valid. He gave judgment for the respondent. The appellant appealed to the High Court.]

DIXON CJ AND TAYLOR J: [Their Honours held first that the Act on its true construction did apply to the sale of goods that were destined for export. They then proceeded to consider whether the effect of the Act operated to avoid transactions made in breach of its provisions.] [218] [W]e were referred to the observations of Jordan CJ in *Bassin v Standen* (1945) 46 SR (NSW) 16; 62 WN 238. After referring to the general rule that if a particular class of sale is prohibited by statute a purported sale in breach of the prohibition is void, his Honour referred to sub-reg (1A) of reg 29 of the *National Security (Prices) Regulations* which, in terms, corresponds to s 25 (2) of the *Prices Regulation Act*. Sub-section (1) expressly provides that no person shall sell any declared goods at a greater price than the maximum price fixed in relation thereto whilst sub-s (2) provides that, in addition to any other penalty that may be imposed for a contravention of sub-s (1), the court may order the defendant to refund to the purchaser of the goods the difference between the maximum price so fixed and the price [219] at which the goods were sold. Jordan CJ in referring to reg 29(1A) said that: "It may be that this should be regarded as sufficiently indicating an intention that a breach of the regulation shall not avoid the sale, but shall merely subject the vendor to a penalty and to the risk of being ordered to refund to the purchaser the unlawful excess or some part of it" (1945) 46 SR (NSW), at p 19; 62 WN, at p 239. His Honour's observations were, of course, not intended as the expression of a concluded opinion on this point and, indeed, he expressly made this clear. That his Honour correctly stated the prima-facie rule, is quite clear from decisions such as *In re Mahmoud and Ispahani* [1921] 2 KB 716, *Anderson Ltd v Daniel* [1924] 1 KB 138, and *Montreal Trust Co v Canadian National Railway* [1939] AC 613. The prohibition imposed by s 25 is in express terms and the purpose of the prohibition is quite clear, and we have no doubt that, apart from any special problem which may arise because of the terms of sub-s (2), a sale or contract of sale made in breach of s 25 must be regarded as void and as being incapable of giving rise to an action for damages in the present form. Further, we are satisfied that sub-s (2) does not affect this conclusion. It does not seem to us that its provisions operate to displace the presumption that transactions in breach of sub-s (1) should be treated as void. On the contrary, it seems to have been intended, merely, as an additional penalty upon a seller and as a means of reimbursing an innocent purchaser in appropriate circumstances. The very terms of the sub-section itself indicates that it was an obligation which might be imposed upon a vendor as an additional penalty, and they afford a means of relief to a purchaser which would not be available either upon the view that a sale, in contravention of the section is quite valid or upon the view that it is illegal and void. Consequently, it cannot be assumed, from the presence of the sub-section, that it was not intended that sales in contravention of the sub-section should be treated as valid and subsisting. But whatever the effect of the section with respect to completed sales of goods, it is beyond doubt that the terms of the section preclude a party to an agreement for the sale of declared goods at a price in excess of the maximum price from seeking in a court of law to enforce his contract,

Accordingly, we are of the opinion that the appeal should be allowed …

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McTIERNAN J [His Honour held that the Act did not apply to goods which were destined for export, and concluded]: [220] It is sufficient for me to say that the contract of sale upon which the plaintiff sued was at all times valid. I must not be taken as [221] dissenting from the opinion of the majority upon any of the questions which it became necessary to discuss in the view that the agreement of sale was struck by the *Prices Regulation Act*. I should dismiss the appeal.

Appeal allowed.

[40.25] Notes

1. In *Re Mahmoud and Ispahani* [1921] 2 KB 716, a case referred to in the principal case, an order was made by the Food Controller under the *Defence of the Realm Regulations* to the effect that no person was to sell linseed oil except in accordance with the terms of a licence granted by the Controller. The plaintiff had a licence to sell linseed oil, and the licence required that sales should only be made to persons holding a licence. The plaintiff sold linseed oil to the defendant who said he had a licence to purchase but in fact had no such licence. The plaintiff had thus infringed the order and committed a summary offence. The defendant refused to accept delivery and the plaintiff sued him. The defendant successfully pleaded illegality. The contract, it was held, was prohibited by the statutory order for the public benefit. Accordingly, the plaintiff could not enforce the contract even though he was innocent in the sense that the defendant had fraudulently assured him that he, the purchaser, had a licence to purchase.
2. In *Anderson Ltd v Daniel* [1924] 1 KB 138, a case referred to in the principal case, the court had to consider the effect of the *Fertilisers and Feeding Stuffs Act 1906* (Cth) which stated:

   > Every person who sells for use as a fertiliser of the soil any article … which has been imported from abroad, shall give to the purchaser an invoice stating the name of the article and what are the respective percentages, if any, of nitrogen, soluble phosphates, insoluble phosphates, and potash contained in the article.

   The Act went on to impose a penalty on any person who failed to provide an invoice on, before or as soon as possible after, delivery of fertiliser. The plaintiff sold fertiliser and delivered it to the defendant but failed to provide an invoice. The defendant did not pay and pleaded that the contract was illegal. The court upheld this plea, stating that the statute was enacted not just for revenue purposes but to protect the public. Accordingly, the plaintiff could not recover the price.

MODERN RELUCTANCE TO FIND PROHIBITION

[40.30] The cases discussed at [40.15]–[40.25] reflect a strict and relatively inflexible approach to the issue of whether a contract is void or unenforceable as a result of illegality. In modern times the courts have shown an increased reluctance to refuse relief to a plaintiff simply

because the contract relied on was in some way associated with conduct which involved violation of a statutory provision. In *St John Shipping Corp v Joseph Rank Ltd* [1957] 1 QB 267, Devlin J made the following statement (at 288):

> I think that a court ought to be very slow to hold that a statute intends to interfere with the rights and remedies given by the ordinary law of contract. Caution in this respect is, I think, especially necessary in these times when so much of commercial life is governed by regulations of one sort or another, which may easily be broken without wicked intent. Persons who deliberately set out to break the law cannot expect to be aided in a court of justice, but it is a different matter when the law is unwittingly broken. To nullify a bargain in such circumstances frequently means that in a case — perhaps of such triviality that no authority would have felt it worth while to prosecute — a seller, because he cannot enforce his civil rights, may forfeit a sum vastly in excess of any penalty that a criminal court would impose, and the sum forfeited will not go into the public purse but into the pockets of someone who is lucky enough to pick up the windfall or, astute enough to have contrived to get it.

There are no hard and fast rules about when a contract will be void or unenforceable on the basis of illegality. The courts will consider the object and context of the legislation. If the purpose of the statute can be fulfilled without finding that the contract is prohibited, the contract is more likely to be construed as valid (see *Fitzgerald v F J Leonhardt Pty Ltd* (1997) 189 CLR 215 at [41.60]). In determining whether the purpose of the statute can be fulfilled without finding that the contract is prohibited, the courts will consider whether the statute said to invalidate the contract provides sanctions for non-compliance. The courts are less likely to hold that the contract is unenforceable where the legislature has provided sanctions for non-compliance with the legislation (see *Master Education Services Pty Ltd v Ketchell* [2008] HCA 38; (2008) 236 CLR 101 at [40.45]). The courts will also consider whether finding that the contract is unenforceable will have adverse consequences for innocent parties. Where this is the case, the courts are less likely to hold that the contract is unenforceable (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410; *Gnych v Polish Club Ltd* [2015] HCA 23; (2015) 255 CLR 414, [45]).

Yango Pastoral Co v First Chicago Australia

[40.35] *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 (High Court of Australia) – Appeal from New South Wales Court of Appeal.

[FACTS: First Chicago Australia Ltd (the *plaintiff*) lent to the Yango Pastoral Co Pty Ltd (the *defendant*) the sum of $132,600, repayment of which was secured by a mortgage which incorporated a guarantee given by other defendants. Default was made in repayment, and the plaintiff sued the defendant on the personal covenants in the mortgage and the other defendants upon their guarantee. The appellants pleaded illegality. They argued that the mortgage (including the guarantee) was rendered illegal and void by the provisions of s 8 of the *Banking Act 1959* (Cth), or alternatively, that by reason of the provisions of s 8 a court would not assist the respondent to give effect to the transaction. The case was decided in the Supreme Court on agreed assumptions, which were that the plaintiff was, at the time the transaction was entered into, carrying on the business of banking contrary to the prohibition in s 8 on bodies corporate so doing in Australia without being authorised under s 9 of the Act and not being exempted from compliance with the provisions of the Act under s 11, and that the transaction was entered into in the course of carrying on that banking business. In the Supreme Court, the plaintiff obtained judgment which was confirmed on appeal by the Court of Appeal. The defendants appealed to the High Court.]

GIBBS ACJ: [413] There are four main ways in which the enforceability of a contract may be affected by a statutory provision which renders particular conduct unlawful: (1) The contract may be

Yango Pastoral Co v First Chicago Australia cont.

to do something which the statute forbids; (2) The contract may be one which the statute expressly or impliedly prohibits; (3) The contract, although lawful on its face, may be made in order to effect a purpose which the statute renders unlawful; or (4) The contract, although lawful according to its own terms, may be performed in a manner which the statute prohibits.

In the present case we are not concerned with the first of these possible situations. Clearly s 8 does not render it unlawful to borrow or lend money or to give and take a mortgage, supported by guarantees, to secure its repayment. The contract sued upon was therefore not to do anything which s 8 forbids. The principal question in the case is whether s 8, on its proper construction, prohibited the making or performance of the contract. As will be seen, if that question is answered in the negative, it will not be possible to say that the contract cannot be enforced on the ground that it was made in order to effect an unlawful purpose or was performed in an unlawful manner.

It is often said that a contract expressly or impliedly prohibited by statute is void and unenforceable. That statement is true as a general rule, but for complete accuracy it needs qualification, because it is possible for a statute in terms to prohibit a contract and yet to provide, expressly or impliedly, that the contract will be valid and enforceable. However, cases are likely to be rare in which a statute prohibits a contract but nevertheless reveals an intention that it shall be valid and enforceable, and in most cases it is sufficient to say, as has been said in many cases of authority, that the test is whether the contract is prohibited by the statute. Where a statute imposes a penalty upon the making or performance of a contract, it is a question of construction whether the statute intends to prohibit the contract in this sense, that is, to render it void and unenforceable, or whether it intends only that the penalty for which it provides shall be inflicted if the contract is made or performed.

The question whether a statute, on its proper construction, intends to vitiate a contract made in breach of its provisions, is one which must be determined in accordance with the ordinary principles that govern the construction of statutes. "The determining factor is the true effect and meaning of the statute" (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267, 286). "One must have regard to the language used and to the scope and [414] purpose of the statute" (*Archbolds (Freightage) Ltd v S Spanglett Ltd* [1961] 1 QB 374, 390). One consideration that has been regarded as important in a great many cases, of which *Cope v Rowlands* (1836) 2 M&W 149 is a notable example, is whether the object of the statute – or one of its objects – is the protection of the public. An antithesis is commonly suggested between an intention to protect the public and an intention simply to secure the revenue, and it is said that when the former intention appears the contract must be taken to be prohibited, whereas if the intention is only to protect the revenue the statute will not be construed as imposing a prohibition on contracts. The question whether the statute was passed for the protection of the public is one test of whether it was intended to vitiate a contract made in breach of its provisions, but I am with respect in full agreement with the views expressed in *St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267, 287 and *Shaw v Groom* [1970] 2 QB 504, 518 that it is not the only test. It would be contrary to reason and principle to allow one circumstance to override all other considerations in the interpretation of a statute. As Devlin J said in *St John Shipping Corporation v Joseph Rank Ltd* (at 287): "The fundamental question is whether the statute means to prohibit the contract. The statute is to be construed in the ordinary way: one must have regard to all relevant considerations and no single consideration, however important, is conclusive." See also *Shaw v Groom* at 523.

There is no doubt that Pt II of the *Banking Act*, in which s 8 appears, was enacted partly at least for the protection of depositors, or that one object of s 8 is the protection of the public. Section 8 of course does not expressly prohibit the making or performance of contracts, but the argument advanced on behalf of the appellants was that the prohibition which it imposes on an unauthorized body corporate from carrying on any banking business extends to all activities which go to make up the business of banking, except such as are merely collateral or peripheral. It was said that a contract to lend money on mortgage supported by guarantee is central to the business of banking and that such a contract, when made by a body corporate unlawfully carrying on the business of banking, and in the course of that business, is prohibited by s 8 on its proper construction. However the receipt of money on deposit is equally central to the business of banking, and if the argument put on behalf

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of the appellants is correct, s 8 would invalidate not only [415] those contracts by which a body corporate carrying on an unauthorized banking business agreed to lend money, but also all contracts pursuant to which it agreed to receive money from depositors. The result of accepting this argument might be that persons who had deposited money with such a body corporate would be unable to seek the assistance of the courts to recover it. Moreover, if a body corporate were unable to recover money that it had lent, it would be disabled from performing its own obligations, including those owed to its depositors. In those circumstances "the avoidance of the contract would cause grave inconvenience and injury to innocent members of the public without furthering the object of the statute" (*Archbolds (Freightage) Ltd v S Spanglett Ltd* (at 390); *Dalgety and New Zealand Loan Ltd v V C Imeson Pty Ltd* (1963) 63 SR (NSW) 998, 1004).

Another relevant consideration is the fact that the penalty which s 8 imposes is a pecuniary sum for each day during which the contravention continues. It is immaterial whether, on any day, the body corporate makes one contract, or one hundred; the penalty is the same. This is an indication that the Parliament did not intend to prohibit each contract made in the course of the business, but only to penalize the carrying on of the business without authority – see *Smith v Mawhood* (1845) 14 M&W 452, 464 and *Victorian Daylesford Syndicate Ltd v Dott* [1905] 2 Ch 624, 630.

The language of s 8 indicates that it is directed, not at the making or performance of particular contracts, but at the carrying on of any banking business. In the course of carrying on such a business a body corporate may make and perform contracts, many, if not all, of which might be made equally by a bank or by a company which is not carrying on banking business. A contract to lend money on mortgage is one example; a contract of employment is another. Although all of the contracts made by a body corporate in the course of carrying on a banking business are ex hypothesi things which it does in carrying on the business, that is, in doing what is unlawful, it is impossible to accept that the legislature intended to invalidate all such contracts with the result that contracts to pay its employees, or those who provided it with services, would be void. The appellants recognized this by making the submission to which I have already referred, that the effect of the section is that only those contracts are invalidated which are in their nature central to the business of banking. I have already said that even if that argument were accepted the effect of the section would still be [416] gravely inconvenient. However there is not the slightest indication in the Act that the Parliament intended that the validity of contracts made by a body corporate carrying on business in breach of s 8 should depend on whether or not they were central to the business of banking. Such a test would in any event be vague and unsatisfactory …

[417] Having regard to the language of s 8, and to the matters to which I have referred, I conclude that s 8, on its proper construction, does not vitiate contracts made by a body corporate in the course of carrying on a banking business in breach of the section. This conclusion also disposes of the question whether the contract in the present case was unlawfully performed by the respondent and is for that reason unenforceable. Of course s 8 does not proscribe any particular mode of performance for contracts of this kind. It could only be said that the contract was performed in violation of s 8 if that section forbids a body corporate which is carrying on a banking business in contravention of the section to perform such a contract if made in the course of its unauthorized banking business. The reasons that I have given for holding that s 8 does not prohibit the making of contracts of this kind lead also to the conclusion that it does not prohibit their performance. As was pointed out in *St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB, 284, the test is the same whether the contract itself, or the manner of its performance, is said to be illegal. The performance of a contract may turn it into the sort of contract that is prohibited by the statute, and the test is whether the contract, as made or as performed, is a contract that is prohibited by the statute.

Further it cannot be said that the contract was performed for any illegal purpose. There is of course no suggestion that the money was borrowed for an illegal purpose, and the fact that the contract was made in the course of the unlawful banking business does not mean that the contract was made in order that the unlawful purpose of carrying on a banking business without authority could be

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achieved or carried out. Once it is held that neither the making nor the performance of the contract was unlawful, the fact that the contract was made and performed in the course of the conduct of an unlawful business provides no ground for denying relief to the respondent. The illegality then is something merely casual or adventitious. The principle applicable is that stated in *Wetherell v Jones* (1832) 3 B & Ad 221, 225-226 by Lord Tenterden CJ:

> Where a contract which a plaintiff seeks to enforce is expressly, or by implication, forbidden by the statute or common law, no court will lend its assistance to give it effect; and there are numerous cases in the books where an action on the contract has failed, because either the consideration for the promise or the act to be done was illegal, as being against the express provisions of the law, or contrary to justice, morality and sound policy. But where the consideration and the matter to be performed are both legal, we are not aware that a plaintiff has ever been precluded from recovering by an infringement of the law, not contemplated by the contract, in the performance of something to be done on his part.

This passage was cited and applied in *St John Shipping Corporation v Joseph Rank Ltd* (1957) 1 QB, 286 and *Shaw v Groom* [1970] 2 QB, 516-517, 520. The crucial question is whether s 8 prohibited the making or performance of the contract, and if it did not the fact that the respondent infringed s 8 does not affect his rights under the contract. The contract was not "nullified for disobedience to a statute", within the rule of public policy discussed by Lord Wright in *Vita Food Products Inc v Unus Shipping Co Ltd* [1939] AC 277, 293 because the disobedience in the present case was not in the performance of the contract but was something quite collateral.

Judgment was rightly given for the respondent. I would dismiss the appeal.

MASON J: [422] The provisions of the Act, though indirectly providing some safeguard to depositors, are principally designed to ensure that the government and its agencies are equipped with accurate and detailed information as to the financial position of the banks as important financial institutions in the community and with supervisory powers and powers to determine matters relevant to financial policy in the interests of regulating the Australian economy. The Act is not a statute whose primary object is to define and regulate the relationship which exists between banker and customer or to regulate the rights and liabilities of banker and customer inter se. The Act in regulating the carrying on of banking business in Australia does so, not only as a means of protecting the customers of, or the depositors with, banks, the provisions of Div 2 of Pt III having this object in view, but as an element in regulating the Australian economy.

Viewed in this light the prohibition contained in s 8 may not be solely directed to the exclusion from the conduct of banking business of bodies corporate which lack the requisite financial [423] strength and stability to carry on banking business. It may also be directed to the exclusion from the field of banking of foreign banks of which only three currently possess authorities under s 9. Whether those authorities are unconditional we do not know. As the interpretation of s 8 may involve constitutional considerations to which reference has not been made in argument, it is better that I say no more about its interpretation in this respect save that there is no warrant for concluding that the prohibition which it contains is exclusively directed to the protection of customers of, or depositors with, banks.

The principle that a contract the making of which is expressly or impliedly prohibited by statute is illegal and void is one of long standing but it has always been recognised that the principle is necessarily subject to any contrary intention manifested by the statute. It is perhaps more accurate to say that the question whether a contract prohibited by statute is void is, like the associated question whether the statute prohibits the contract, a question of statutory construction and that the principle to which I have referred does no more than enunciate the ordinary rule which will be applied when the statute itself is silent upon the question. Primarily, then, it is a matter of construing the statute and in construing the statute the court will have regard not only to its language, which may or may not touch upon the question, but also to the scope and purpose of the statute from which inferences may be drawn as to the legislative intention regarding the extent and the effect of the prohibition which the statute contains.

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The first question is: Does s 8 expressly prohibit the making of a contract of loan? The question must, I think, be answered in the negative. The section makes no reference to contracts or transactions. Consequently, if it contains a prohibition against the making of contracts of loan, that prohibition must be ascertained or identified by a process of implication. The defendants seek to avoid this conclusion by saying that, because the lending of money on mortgage in the course of carrying on what is admittedly banking business itself amounts to the carrying on of banking business, as the lending of money on mortgage is central to that [424] business, the making in the course of such a business of a loan and the taking of a mortgage by which the money is agreed to be repaid themselves fall within the prohibition. It is said that the express prohibition against the carrying on of any banking business is necessarily a prohibition against entry into the very transactions which constitute banking business, at least when they are central to that business. So it is argued that the lending of money on mortgage, though not distinctive of banking business, being one of the transactions central to that business is therefore prohibited. Although this argument provides some support for saying that the lending of money on mortgage falls within the prohibition, it does not in my view establish that the prohibition is express rather than implied. The prohibition against the making of contracts, if there be one, can only arise by way of necessary inference, there being no reference at all in the provisions of the section to contracts as such.

The next question is whether by implication, that is by way of necessary inference, such a prohibition can be discovered in the section. The defendants in support of their argument again rely on the admissions of fact, the contention that the lending of money on mortgage is central to banking business and the circumstance that the lending by a bank of money on mortgage in its banking business itself amounts to the carrying on of that business. They then point to cases in which implied prohibitions against the making of contracts of particular kinds have been discovered in some statutes. Of these cases two examples may be selected. The first is *Cope v Rowlands* (1836) 2 M & W 149; 150 ER 707, where the statute [6] Anne, c 16 required brokers to be admitted by the court and the mayor of the City of London and upon admission to make prescribed payment with a proviso making it an offence for an unauthorised person to act as a broker, imposing a penalty of £25 for each such offence. It was held that the statute impliedly, though not expressly, prohibited a brokerage contract entered into by an unauthorised person and made it illegal and void. Parke B said (at 157–8, 710):

> And it may be safely laid down, notwithstanding some dicta apparently to the contrary, that if the contract be rendered illegal, it can make no difference, in point of law, whether the statute which makes it so has in view the protection of the revenue, or any other object. The sole question is, whether the statute means to prohibit the contract?

He went on to say:

> the question for us now to determine is, whether the enactment of the statute 6 Anne, c 16, (altered as to the amount of penalty by 57 Geo 3, c 60), is meant merely to secure a revenue to the city, and for that purpose to render the person acting as a broker liable to a penalty if he does not pay it? or whether one of its objects be the protection of the public, and the prevention of improper persons acting as [425] brokers? On the former supposition, the contract with a broker for his brokerage is not prohibited by the statute; on the latter it is: for it cannot be permitted to a person to recover a compensation for an act which the law interdicts him from doing.

As brokerage contracts are distinctive of broking business, the court held that the statute prohibited the carrying on of the business and the making of the contracts.

The second case is *Cornelius v Phillips* [1918] AC 199. There a registered money-lender entered into a money-lending contract at an hotel some distance away from his registered address. This was held to be in contravention of s 2(1)(b) of the *Money-lenders Act 1900* (UK) which prohibited a money-lender from carrying on his money-lending business otherwise than at his registered address.

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It was also held that the statutory provision prohibited the contract and made it void, this because the prohibition amounted to a prohibition against a registered money-lender lending money except at his registered address. This conclusion might be thought to have been inescapable, subject to the existence of any contrary intention in the statute, so close is the relationship between the carrying on of a money-lending business and the making of a loan of money. Accordingly, *Cornelius v Phillips* does not provide illuminating guidance in the present case where the contracts entered into in the course of banking business are so varied and are not necessarily distinctive of the business. Lord Dunedin said (pp 212–13):

> the question always comes to be put, as Parke B put it in *Cope v Rowlands* (1836) 2 M & W 149, does the statute seek to prohibit the contract? Section 2, subs 1(b), seems to me to prohibit the contract, though it is expressed in words which apply directly to the contractor rather than to the contract. Indeed, if one looks at the mischief sought to be remedied, the case seems to me a stronger one than that of *Cope v Rowlands*.

These cases do no more than demonstrate that the question whether a statute prohibits contracts is always a question of construction turning on the particular provisions, the scope and purpose of the statute. They also indicate some of the considerations which will influence the court's decision on the question of construction. But the considerations to which they refer are by no means exhaustive or comprehensive and it can scarcely be suggested that the statutes on which the two cases were decided bear a close resemblance to the *Banking Act*. It is [426] one thing to imply a prohibition against particular contracts which are distinctive of a business from a prohibition against the carrying on of that business. It is quite another thing to imply a prohibition against contracts of various kinds none of which are distinctive of the business which is the subject of the statutory prohibition. And the difficulty in implying the prohibition is not in my opinion overcome by seeking to limit it to those contracts which are said to be central to the business, though it is admitted that they are not distinctive of it.

Where, as here, a statute imposes a penalty for contravention of an express prohibition against carrying on a business without a licence or an authority and the business is carried on by entry into contracts, the question is whether the statute intends merely to penalise the person who contravenes the prohibition or whether it intends to go further and prohibit contracts the making of which constitute the carrying on of the business. In deciding this question the court will take into account the scope and purpose of the statute and the consequences of the suggested implication with a view to ascertaining whether it would conduce to, or frustrate, the object of the statute.

In *Re Mahmoud and Ispahani* [1921] 2 KB 716, Scrutton LJ (at 730) referred to *Bloxsome v Williams* (1824) 3 B & C 232; 107 ER 720 in which the defendant, who was a horse dealer, was prohibited by statute from trading on a Sunday, and pointed out that there was nothing illegal in another person making a contract with a horse dealer on a Sunday except that if he knew that the person with whom he was dealing was a horse dealer he might be aiding and abetting him to break the law. Atkin LJ said (at 731): "One may find that the statute imposes a penalty upon an individual, and yet does not prohibit the contract if it is made with a party who is innocent of the offence which is created by the statute."

The prohibition contained in s 8 against carrying on any banking business without an authority is an integral element in the statutory regulation of banking business. As I have said, the object of that regulation is not only to protect depositors with authorised banks but to equip the government, through its agencies, with current and detailed information as to banking operations in Australia and to arm the government and its agencies with supervisory powers and powers to determine matters relevant to financial policy in the interests of regulating the Australian economy.

In this context there is little to be said for the view that the statute intends to prohibit contracts made by unauthorised banks [427] in the course of carrying on banking business. To do so would be to prejudice depositors, not to protect them. The implication of such a prohibition would deny to innocent depositors the right to recover moneys deposited unlawfully with persons carrying on banking business because ex hypothesi the prohibited contract would be illegal and void. To

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place the defendants' interpretation upon the statute would confer an extraordinary advantage on the wrongdoer in enabling it to resist repayment of moneys deposited with it. In this respect the advantage given to the wrongdoer might conceivably go some distance towards outweighing the punishment imposed upon it by way of penalty under s 8.

It is not rational to suppose that the Parliament intended to inflict such dire consequences on innocent depositors. Nor is it rational to suppose that the Parliament intended to advantage innocent borrowers whilst penalising innocent depositors. Even less is it to be supposed that the Parliament intended to invalidate the wide range of commercial and other securities which are brought into existence in the course of carrying on a banking business and thereby to inflict loss on the many persons acquiring such securities. I therefore conclude that the purpose of the Act is adequately served by the imposition of the very heavy penalty which is prescribed for a contravention of s 8 and that it does not prohibit and thereby invalidate contracts and transactions entered into in the course of carrying on banking business in breach of the section.

However, it is suggested that this conclusion does not dispose of the issues in the present case. Here the party seeking to enforce the contract is not the innocent party but the party in breach of a statutory prohibition, the contract being made in the course of the carrying on of a business which in the circumstances was prohibited, though the contract was not itself prohibited. The question therefore remains whether the court will allow the plaintiff to enforce the contract. The suggestion is that the court will not do so and that its refusal so to do is dictated by the principle ex turpi causa non oritur actio or by the more specific rule that the court will not enforce the contract at the suit of a party who has entered into a contract with the object of committing an illegal act.

The effect of the principle ex turpi causa non oritur actio was expressed by Fry LJ in *Cleaver v Mutual Reserve Fund Life Association* [1892] 1 QB 147, 156:

> no system of jurisprudence can with reason include amongst the rights which it enforces rights directly resulting [428] to the person asserting them from the crime of that person. If no action can arise from fraud, it seems impossible to suppose that it can arise from felony or misdemeanour.

Cleaver's case was cited with approval in *Beresford v Royal Insurance Co Ltd* [1938] AC 586, 598–9, where Lord Atkin said:

> the principle is that a man is not to be allowed to have recourse to a court of justice to claim a benefit from his crime whether under a contract or a gift. No doubt the rule pays regard to the fact that to hold otherwise would in some cases offer an inducement to crime or remove a restraint to crime, and that its effect is to act as a deterrent to crime. But apart from these considerations the absolute rule is that the courts will not recognise a benefit accruing to a criminal from his crime.

The suggested application of the principle often involves a conflict between competing common law policies. In *Beresford's* case (at 603) Lord Macmillan identified the conflict between the principle that no court ought to assist a criminal to derive benefit from his crime and the principle that contracts deliberately undertaken by persons of full age ought to be enforced. In *Cleaver's* case Lord Esher MR prefaced his remarks on the unenforceability of a life insurance contract where the beneficiary murdered the assured with the warning that:

> when people vouch that rule to excuse themselves from the performance of a contract, in respect of which they have received the full consideration, and when all that remains to be done under the contract is for them to pay money, the application of the rule ought to be narrowly watched, and ought not to be carried a step further than the protection of the public requires. (at 151)

In the present case the effect of relieving the defendants from their contractual obligation to repay money to the plaintiff would not be confined to the substantial detriment resulting to the plaintiff.

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The ability of the plaintiff to meet its obligations to its investors and other creditors depends, in part if not entirely, on its ability to enforce the terms of repayment of its contracts of loan with persons such as the defendants. To hold the contract unenforceable at the suit of the plaintiff would be to provide a windfall gain to the defendants and other borrowers in a similar position, and, although indirectly, to impose substantial hardship on those who originally made funds available to the plaintiff.

The weighing of considerations of public policy in this case and the decision in favour of enforcing the contract is influenced by [429] the form of the particular legislation. In this case the Act, as I have mentioned, is to a large extent directed to aiding the government in executing its fiscal policy rather than regulating the relationship between banker and customer per se, a feature which lends support for the view that the provision of a large recurrent penalty for offences against s 8 is Parliament's determination of the consequences of breach of the section and as the only legal consequences thereof. There is much to be said for the view that once a statutory penalty has been provided for an offence the rule of the common law in determining the legal consequences of commission of the offence is thereby diminished – see my judgment in *Jackson v Harrison* (1978) 52 ALJR 474, 479–80. See also the suggestions that the principle cannot apply to all statutory offences: *Beresford v Royal Insurance Co Ltd* in the Court of Appeal [1937] 2 KB 197, 220 per Lord Wright; *Marles v Philip Trant & Sons Ltd* [1954] 1 QB 29, 37 per Denning LJ and that it would be a curious thing if the offender is to be punished twice, civilly as well as criminally: *St John Shipping Corp v Joseph Rank Ltd* [1957] 1 QB 267, 292 per Devlin J. The main considerations from which the principle ex turpi causa arose can be seen in the reluctance of the courts to be instrumental in offering an inducement to crime or removing a restraint to crime: *Beresford's* case [1938] AC 586, 599; *Amicable Society v Bolland (Fauntleroy's Case)* (1830) 4 Bligh (NS) 194, 211; 5 ER 70, 76.

However, in the present case Parliament has provided a penalty which is a measure of the deterrent which it intends to operate in respect of compliance with s 8. In this case it is not for the court to hold that further consequences should flow, consequences which in financial terms could well far exceed the prescribed penalty and could even conceivably lead the plaintiff to insolvency with resultant loss to innocent lenders or investors. In saying this I am mindful that there could be a case where the facts disclose that the plaintiff stands to gain by enforcement of rights gained through an illegal activity far more than the prescribed penalty. This circumstance might provide a sufficient foundation for attributing a different intention to the legislature. It may be that the true basis of the principle is that the court will refuse to enforce a transaction with a fraudulent or immoral purpose: *Beresford v Royal Insurance Co Ltd* [1937] 2 KB 197, 220 (CA). On this basis the common law principle of ex turpi causa can be given an operation consistent with, though subordinate to, the statutory intention, denying relief in those [430] cases where a plaintiff may otherwise evade the real consequences of a breach of a statutory prohibition.

Nevertheless, the principle that the court will not enforce a contract at the suit of a party who has entered into it with the object of committing an illegal act does not avail the appellant in this case. The considerations to which I have already referred serve to show that the legislative intention expressed by the Act is that a contract made by a corporation carrying on banking business in breach of s 8 is not illegal and void, but rather that it is a valid contract and that the only penalty which the corporation suffers in consequence of its breach of the section is a liability to conviction and fine under the provisions of the section. In my opinion the plaintiff is able to enforce the mortgage against the defendants in this case as the contract is not rendered void, either expressly or impliedly, by the Act and considerations of public policy operate, in the circumstances, so as to make inapplicable the maxim ex turpi causa non oritur actio.

For these reasons I would dismiss the appeal.

[AICKIN J agreed with Mason J. JACOBS and MURPHY JJ also delivered judgments in which they held that the appeal should be dismissed.]

Appeal dismissed.

[40.40] **Note**

In *St John Shipping Corp v Joseph Rank Ltd* [1957] 1 QB 267, referred to in the principal case, a shipowner overloaded his ship and its master was fined under the merchant shipping legislation. The owner of some goods on the ship argued that the contract of carriage in respect of the goods had been performed in an illegal way, and that accordingly there was no liability to pay the agreed freight. Devlin J rejected this argument, holding that the contract of carriage, as made or as performed, was not prohibited by the legislation. The legislation prohibited overloading, not contracts of carriage.

Master Education Services v Ketchell

[40.45] *Master Education Services Pty Ltd v Ketchell* [2008] HCA 38; (2008) 236 CLR 101 (High Court of Australia) – Appeal from the New South Wales Court of Appeal.

[FACTS: Section 51AD of the *Trade Practices Act 1974* (Cth) (now s 51ACB of the *Competition and Consumer Act 2010* (Cth)) provides that a corporation must not, in trade or commerce, contravene an applicable industry code. The Franchising Code of Conduct (Code) is such a code. Clause 11(1) of the Code provides that a franchisor must not enter into a franchise agreement or receive non-refundable money under a franchise agreement unless the franchisor has received a written statement from the prospective franchisee that acknowledges that the prospective franchisee has received, read and had a reasonable opportunity to understand the disclosure document and the Code. Clause 11(2) provides that the franchisor must also receive a statement from the prospective franchisee that either acknowledges that the franchisee has received independent advice about the proposed franchise agreement or has decided not to seek such advice.

Master Education Services Pty Ltd (Master Education) (the appellant), a franchisor, provided a disclosure statement and a copy of the Code to Ms Ketchell (the respondent) prior to executing the franchise agreement with Ms Ketchell. However, Master Education failed to obtain the statements required by cl 11(1) of the Code. When Master Education sought to enforce the franchise agreement, Ms Ketchell argued that Master Education's failure to comply with cl 11(1) rendered the contract unenforceable. In the Local Court, the Magistrate found for Ketchell on the basis that the court could not require payment as such payment would involve Master Education breaching cl 11(1). On appeal to the Supreme Court of New South Wales, Malpass AsJ overturned the Magistrate's finding. Malpass AsJ's decision was successfully appealed to the New South Wales Court of Appeal. Master Education Services appealed to the High Court.]

THE COURT: [10] The appellant submits that, whilst its failure to comply with cl 11(1) was a contravention which might have attracted Pt VI … it did not result in the illegality and unenforceability of the Franchise Agreement made between them. For the reasons which follow that submission should be accepted and the appeal allowed.

[11] The question on the appeal is whether a franchise agreement is vitiated where it has been entered into by a corporate franchisor which has contravened the Code, by entering into an agreement without receiving the required statement from the franchisee, confirming the receipt of information about the franchise and the franchisor and that the franchisee has had sufficient time to understand that information. It is not to be assumed that the common law sanction is to apply in the case of every contravention of a prohibition directed to one of the parties to a contract unless the statute contradicts or displaces such an effect. The correct approach to such a question was explained in the following passage in *Australian Competition and Consumer Commission v Baxter Healthcare Pty Ltd* (2007) 232 CLR 1, 19 [45]-[46]:

> In *Yango Pastoral Co Pty Ltd v First Chicago Australia* Ltd (1978) 139 CLR 410, 423, Mason J said: "The principle that a contract the making of which is expressly or impliedly prohibited

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> by statute is illegal and void is one of long standing but it has always been recognised that the principle is necessarily subject to any contrary intention manifested by the statute. It is perhaps more accurate to say that the question whether a contract prohibited by statute is void is, like the associated question whether the statute prohibits the contract, a question of statutory construction and that the principle to which I have referred does no more than enunciate the ordinary rule which will be applied when the statute itself is silent upon the question."

That passage was cited by Kerr LJ in *Phoenix General Insurance Co of Greece SA v Halvanon Insurance Co Ltd* [1988] QB 216, 270, where his Lordship said that when a statute contains a unilateral prohibition on entry into a contract, it does not follow that the contract is void ([1988] QB 216, 273). Whether or not the statute has this effect depends upon the mischief which the statute is designed to prevent, its language, scope and purpose, the consequences for the innocent party, and any other relevant considerations. Ultimately, the question is one of statutory construction (See also *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410, 413-414 per Gibbs A-CJ; *Australian Broadcasting Corporation v Redmore Pty Ltd* (1989) 166 CLR 454, 457 per Mason CJ, Deane and Gaudron JJ).

The statutory provisions and their construction

…

[15] Section 51AD is not expressed to prohibit entry into a franchise agreement where a franchisor has not complied with the Code. It does not make performance of such an agreement unlawful in that circumstance. Like the statutory provisions in *Yango Pastoral Co v First Chicago* (1978) 139 CLR 410, it contains no reference to contracts or transactions …

[16] As was pointed out in the passage from *Yango Pastoral Co v First Chicago*, cited in *Australian Competition and Consumer Commission v Baxter Healthcare*, it does not always follow from a prohibition directed to one party to an agreement that the contract is void. In *Yango Pastoral Co v First Chicago* the statutory prohibition in question (s 8 of the *Banking Act 1958* (Cth)) prohibited a corporation from carrying on any banking business without an authority to do so, and provided a daily penalty for contravention. It was held that securities taken by a corporation which contravened that provision were not rendered void and unenforceable by the Act. Gibbs A-CJ observed that it was directed not at the making or performance of particular contracts, but at the carrying on of any banking business (at 415) …

[18] In the present case, the prohibition in s 51AD is directed to securing compliance by franchisors with the requirements of industry codes, and the consequence of contravention is the grant of remedies provided for in Pt VI of the Act.

[19] In the absence of an express prohibition in the Act, any such prohibition against the making of an agreement, unless there has been compliance with an industry code, must be found by a process of implication, as Mason J observed in *Yango Pastoral Co v First Chicago*. The Court of Appeal relied upon the terms of cl 11(1) of the Code in concluding that entry into a contract was prohibited by the Act. It may be useful to read together regulations and the Act with which they were made, in order to identify the nature of a legislative scheme which they comprise. That is not a warrant for the use of the Code to construe, and expand, the terms of s 51AD, in particular by reference to the nature of the language of cl 11(1). Regulations are to be construed according to ordinary principles of construction (*Brayson Motors Pty Ltd (In liq) v Federal Commissioner of Taxation* (1985) 156 CLR 651, 652). That requires that they be placed in their statutory context. In the case of regulations that includes the legislation under which they are enacted and with which they are required to be consistent …

[21] In the Explanatory Statement with respect to the regulations which prescribe the Code, it was said that the operation of the franchising sector had been of concern to the Government for many years. The sector was characterised by high levels of dispute, generally arising out of the imbalance of power between franchisors and franchisees. Major problems in the sector included inadequate disclosures by franchisors prior to franchise agreements being entered into …

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[25] The purposes of the scheme of Pt IVB and the Code in question are to regulate the conduct of persons in the franchising industry in order to improve business practices, to provide some protection to franchisees proposing to enter into franchise agreements and to decrease litigation. Those purposes are sought to be achieved, in large part, by ensuring that a prospective franchisee is in a position to make an informed decision about the operation of the franchise and is encouraged to take independent advice before entering into a franchise agreement. The scheme is largely directed to the franchisor, who is obliged to provide that information and advice. Section 51AD may be seen to promote compliance with the Code, by providing, in effect, that non-compliance will amount to a contravention, for which there are remedies available under Pt VI. It is no part of the scheme, and unnecessary to the purposes mentioned, to strike down a contract made by a non-complying franchisor. It is sufficient for the purpose of the scheme that a franchisor is aware of the obligations imposed by the Code and that action may be taken by a franchisee under the Act with respect to a contravention of s 51AD.

[26] Section 51AD is not converted into a prohibition upon the making of an agreement where there is non-compliance with the Code because cl 11(1) of the Code is expressed in imperative terms … It is not to be inferred from the language of cl 11(1) that the stated prohibition is to have the result that a contract entered into by a non-complying franchisor is to be void and unenforceable. The use of imperative language in cl 11(1) does not require that conclusion. As was pointed out in *Project Blue Sky Inc v Australian Broadcasting Authority* (1998) 94 CLR 355, 390-91 [93], it is necessary to ask whether it was a purpose of the legislation that an act done in breach of the provision should be invalid. In determining the question of purpose, regard must be had not only to the language of the relevant provision but also to the scope and object of the whole statute.

[27] It was pointed out in *Archbolds (Freightage) Ltd v S Spanglett Ltd* [1961] 1 QB 374, 387 that, if a court too readily implies that a contract is forbidden by statute, it takes it out of its power to provide remedies according to the circumstances of the case. Pearce LJ was there referring to the use of public policy to hold a contract unlawful. Such an issue does not arise in the present case. The provision of remedies in Pt VI may be seen as directed to the range of circumstances which may arise in cases where there has been a failure by a franchisor to provide some or any information to a prospective franchisee or to evidence the giving of that information and the receipt of the necessary advices, as cl 11(1) requires. In some cases the non-compliance may be such as to warrant the court striking a contract down on the application of a franchisee. Such a result would not necessarily follow upon any breach of cl 11(1), which may not have involved any failure to give the required information or the franchisee not understanding it.

[28] Part VI of the Act contains a range of remedies for a contravention of s 51AD (and s 51AC). They include the grant of an injunction with respect to conduct engaged in, or which is proposed to be engaged in, which would constitute a contravention of Pt IVB (or Pt IVA) (s 80), damages (s 82), non-punitive orders (s 86C) and the range of orders laid out in s 87(2), including orders varying contracts and refusing to enforce all or any contractual provisions (s 87(2)(b) …

[30] The operation of the Act with respect to a contravention of a provision of the Code therefore stands in marked contrast to a contravention of other statutory regimes which, beyond stating that contravention is an offence, are silent as to the remedial consequences for the relations in the civil law between the parties. That was the difficulty presented by the terms of the legislation in *Yango Pastoral Co v First Chicago*, which provided only for the imposition of a penalty. The Court was nonetheless able to conclude that the legislative purpose, relating to the business of banking, could be fulfilled without the securities being void or unenforceable …

[35] The fact that the Act contains elaborate provisions with respect to contraventions of Pt IVB was pointed out in *Australian Competition and Consumer Commission v Baxter Healthcare*. As Gleeson CJ, Gummow, Hayne, Heydon and Crennan JJ there observed, the Act is far from being silent upon the question of the consequences of illegality. The intention, that contravention of Pt IVB would attract the range of remedies under the Act, including injunctive relief and damages, is confirmed in the

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Explanatory Memorandum to the Bill. It is not to be inferred that the more drastic consequences of the common law were intended to follow upon a contravention of a code of conduct …

[38] The detailed provision by the Act for the consequences of non-compliance with an industry code, such as the Franchising Code of Conduct, does not support a conclusion that it was intended that the harsh consequences provided by the common law were to follow upon contravention of s 51AD. The Act provides a more flexible approach. It allows a court to prevent entry into a franchise agreement, to vary the terms of an agreement entered into in breach of the Code, or to terminate such an agreement or provide compensation for loss and damage, if it is shown to have been caused by the contravention. In that regard the extended meaning which may be given to loss and damage by s 82, which is suffered by reason of entry into contractual obligations, may assume significance.

[39] The final matter which supports the non-applicability of the common law sanction for contravention of s 51AD has regard to the position of the franchisee. One of the purposes of the Code is the protection of the position of the franchisee. It is not expressed to prohibit the franchisee from entering into an agreement where a franchisor had not complied with cl 11. As Rares J pointed out in *Hoy Mobile Pty Ltd v Allphones Retail Pty Ltd [No 2]* [2008] ATPR ¶42-240, 49,299 [103]-[104], it would be an unusual result if, in that circumstance, a franchisee's bargain was struck down in every case, regardless of the position in which it places the franchisee. It is not to be assumed in every case that a franchisee wishes to be relieved of their bargain. To render void every franchise agreement entered into where a franchisor had not complied with the Code would be to give the franchisor, the wrong-doer, an opportunity to avoid its obligations (See also *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410, 426), and at the same time to place the franchisee in breach of obligations to third parties. A preferable result, and one for which the Act provides, is to permit a franchisee to seek such relief as is appropriate to the circumstances of the case. Some cases of non-compliance with cl 11 might involve substantial non-disclosure; others may only involve a failure to obtain the written statement, confirming that the franchisee has read and understood the disclosure document and the Code. This is such a case.

[40] Section 51AD does not in its terms prohibit the making of a franchise agreement where a franchisor has not complied with the Code. That section and the Code are concerned with the regulation of the conduct of participants in the franchising industry; in particular the conduct of franchisors. It is not to be inferred from a purpose which promotes or prescribes better and fairer business practices that contractual relations between parties will be affected. As was pointed out in *SST Consulting Services v Rieson* (2006) 225 CLR 516, 527 [30], the Act is far from being silent upon the question of the consequences of illegality, but, rather, contains elaborate provision. That is not to say that the express provisions of the Act answer all questions that may arise, but they answer many of them, and set the context in which others are to be answered. The provision made by the Act, in Pt VI, for remedies for contraventions of Pt IVB, and the unconscionability provisions of Pt IVA, tell strongly against an intention that the common law remedy for illegality was to apply. Such a conclusion is reinforced by the disadvantage which may be caused to a franchisee, which would not be consistent with the purposes of Pt IVB and the Code. It follows that s 4L does not apply to require the severance of the respondent's obligation under the Franchise Agreement to pay moneys, as the respondent contended.

Appeal allowed.

INVALIDITY ON THE GROUNDS OF PUBLIC POLICY

[40.55] Even where the court concludes that the contract is not expressly or impliedly prohibited by statute, the court must then consider whether to refuse relief on public policy grounds (see Chapter 41). There is considerable overlap between the factors the court considers

when determining whether a contract is impliedly prohibited by statute and when determining whether to refuse to enforce a contract on the basis that it contemplates the commission of a breach of statute and is therefore contrary to public policy. Kirby J's judgment in *Fitzgerald v F J Leonhardt Pty Ltd* (1997) 189 CLR 215 (extracted at [41.60]) contains a useful discussion of the distinction between contracts found to be prohibited by statute and contracts found to be illegal on the grounds of public policy.

CHAPTER **41**

Contracts prohibited at common law

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PUBLIC POLICY

[41.05] Judges refuse to allow contractual promises that violate basic community standards and policies to be enforced. It is said that it would be contrary to public policy to enforce such promises. "Public policy", however, is an elusive concept. In *Richardson v Melish* (1824) 2 Bing 229, 252; 130 ER 294, 303, Burrough J noted that public policy "is a very unruly horse, and when once you get astride it you never know where it will carry you". Nevertheless, in the 19th century and beyond, the courts recognised a variety of heads of policy when the interests of the community were thought to demand it.

During the 20th century, the legislative arm of government played a far more important creative role in the development of the law than was the case when the judges developed heads of public policy. In these changed circumstances, some courts experienced feelings of embarrassment about the creation of new heads of public policy. In *Janson v Driefontein Consolidated Mines* [1902] AC 484, 491, Lord Halsbury LC said: "I deny that any court can invent a new head of public policy." However, Windeyer J made the following comment in *Brooks v Burns Philp Trustee Co Ltd* (1969) 121 CLR 432, at 451–2:

> The House of Lords has said that it is not for courts to create new heads of public policy. This warning was expounded by Isaacs J in this court in *Wilkinson v Osborne* (1915) 21 CLR 89. The proposition continues to excite controversy among those who doubt whether the fertility of courts in the 19th century has now given way to sterility, resulting from senility, in the common law. But the distinction between creating a new head of public policy and defining the scope of heads already formulated by judicial decision is perhaps verbal rather than real. Sir Carleton Allen trenchantly remarked in his *Law in the Making* (7th ed), p 303, n 2, that "the notion of 'heads' or categories, settled once for all, in a matter like this, is quite artificial and, it is submitted, unprofitable, except for convenience of arrangement and exposition".

> Nevertheless, the influence of categories continues. They provide "pigeon holes", it is said, into one of which an agreement must fit if it is to be held invalid on the ground of public policy: *Monkland v Jack Barclay Ltd* [1951] 2 KB 252 at 265.

This chapter considers the following heads of public policy by way of example: contracts promoting corruption in public life; contracts prejudicing the administration of justice; contracts involving crime, tort or breach of statute; and contracts which effect a restraint of trade. The consequences of illegality are further considered in Chapter 42.

CONTRACTS PROMOTING CORRUPTION IN PUBLIC LIFE

[41.10] A contract which involves a conflict between the public duty and the private interests of the contractor is contrary to public policy.

Wilkinson v Osborne

[41.15] *Wilkinson v Osborne* (1915) 21 CLR 89 (High Court of Australia) – Appeal from the Supreme Court of New South Wales.

[FACTS: Section 4 of the *Closer Settlement (Amendment) Act 1907* (NSW) provided that when an Advisory Board reported that any land was suitable to be acquired for closer settlement, the governor could, subject to the Act, purchase it from the owner. Every such purchase was subject to the approval, by resolution, of both Houses of Parliament.

Wilkinson (the *appellant*) was acting as agent for the owners of a large property which had been offered to the government for £30,000. The matter was delayed and Wilkinson was anxious to have it settled in order to get his commission, which was £1,000. He approached Osborne and Jones (the *respondents*), who were members of the Legislative Assembly carrying on the business of land agents, and asked them to urge the government to close the deal as quickly as possible. Their fee was £250. The sale was made and Osborne and Jones sued for the fee. They obtained judgment and issued a bankruptcy notice against Wilkinson when it was not satisfied. Wilkinson moved to set aside the notice on the ground, inter alia, that the judgment was based on an illegal contract. Street J dismissed the motion and Wilkinson appealed.]

ISAACS J: [97] In my opinion the "public policy" which a court is entitled to apply as a test of validity to a contract is in relation to some definite and governing principle which the community as a whole has already adopted either formally by law or tacitly by its general course of corporate life, and which the courts of the country can therefore recognise and enforce. The court is not a legislator; it cannot initiate the principle, it can only state or formulate it if it already exists.

The rule of law as to contracts against public policy is constant – namely, that every bargain contrary to such a social governing principle is regarded as prejudicial to the State, or in other words, contrary to "public policy" or, as it is sometimes called, "policy of the law", and the State by its tribunals refuses to enforce it.

But, as was said by the Judicial Committee in *Venture v Venture* (1874) LR 6 PC 1 at 29:

> the determination of what is contrary to the so-called "policy of the law" necessarily varies from time to time. Many transactions are upheld now by our own courts which a former generation would have avoided as contrary to the supposed policy of the law. The rule remains, but its application varies with the principles which for the time being guide public opinion.

So in *Nordenfelt v Maxim Nordenfelt Guns & Ammunition Co Ltd*, the observations of Lord Watson (at 553–4) and Lord McNaughton (at 565) run upon the same lines. But the point to bear in mind is that the principle which is to be the standard of legality must at the time be one which is of

Wilkinson v Osborne cont.

general recognition in the community as one essential to its corporate welfare. Some are not the subject of actual law; such as sexual morality and the promotion of marriage. Others are recognised as fundamental principles of the common [98] law; as the protection of the public revenue, the administration of justice, the freedom and inherent duty of the legislature and executive. Others, again, arise by statute directly or indirectly, for whatever a statute enacts is beyond all question, to that extent, the policy of the country. Whatever tends to defeat an enactment is necessarily against public policy.

I apprehend, therefore, the duty of this court is confined to inquiring whether there is at the present moment any governing principle existing in New South Wales, whether as a recognised essential part of the corporate life of the community or as part of the common or statute law of the State, which is infringed by the bargain between the appellant and the respondents by reason of its express terms or the tendency of its operation.

The courts must, to quote Lord Watson's words in the *Nordenfelt* case (at 554):

> ascertain, with as near an approach to accuracy as circumstances permit, what is the rule of policy for the then present time. When that rule has been ascertained, it becomes their duty to refuse to give effect to a private contract which violates the rule and would if judicially enforced, prove injurious to the community.

The courts refuse to give effect to such a bargain, not for the sake of the defendant, not to protect any interest of his – indeed, they do not fail to notice that his failure to abide by his agreement sometimes adds dishonesty to illegality – but they refuse to enforce the bargain for the sake of the community, who would be prejudiced if such a bargain were countenanced. The existence and nature of the principle or rule here rests upon the effect of the law of the State Constitution read by the light of the doctrine of responsible government, and the further specific effect of the closer settlement legislation.

[His Honour then examined the provisions of the closer settlement legislation and certain principles of constitutional law. He concluded:] [105] [O]n the facts of this case I entertain no doubt that the respondents were bargaining with Wilkinson to use the weight and influence they possessed by virtue of their positions as members of Parliament. How they came to be selected, the nature of the work they performed, the manner in which they performed it, all point unmistakably to the conclusion that it was not their business experience or ability that was wanted by Wilkinson or utilised by them, but their opportunities and ability of influencing the executive to advance the business proposal that hung fire.

It would be disastrous to the community to permit this to be recognised as a legitimate subject of traffic; it would encourage those who are appointed to be sentinels of the public welfare to become – if I may borrow a phrase from another case – the "sappers and miners" of the Constitution. And this court would be doing less than its own duty if it hesitated to denounce such traffic in the most positive terms.

Quacunque via, on the facts of this case the respondents placed their interest in conflict with their duty; and the bargain cannot stand.

There is, therefore, behind the judgment nothing which the law can recognise as a legal foundation, and consequently there is no debt which can form the basis of a bankruptcy notice. The appellant's objection must prevail; and he must succeed, not because he has merits but because the respondents have none.

[GRIFFITH CJ delivered a judgment in which he reached the same result and GAVAN DUFFY J agreed with both judgments.]

Appeal allowed.

CONTRACTS PREJUDICING THE ADMINISTRATION OF JUSTICE

[41.20] A fundamental head of public policy is the public interest in the administration of justice and the enforcement of the criminal law. Violations of this head of public policy can take a variety of forms. A contract which aims at stifling a prosecution in respect of a public offence is one example: see *Callaghan v O'Sullivan* [1925] VLR 664 and *Clegg v Wilson* (1932) 32 SR (NSW) 109, at [42.60] and [42.75], respectively. A further example is a contract not to disclose information that would assist in the administration of the criminal law. In the following case, a contract was challenged on this basis.

A v Hayden

[41.25] *A v Hayden* (1984) 156 CLR 532 (High Court of Australia) – Case stated in actions in the Court.

[FACTS: Five Commonwealth employees (the *plaintiffs*) took part in 1983 in a security training exercise arranged by the Australian Secret Intelligence Service (ASIS). They were to rescue one of their number, playing the role of hostage, from his "captors" in a room at the Sheraton Hotel in Melbourne. They did so by breaking down the door of the room. The hotel manager, who was not warned of the exercise, went to investigate. The plaintiffs wearing disguises and carrying firearms left hurriedly, one of them jostling the manager in the lift. The Victorian Chief of Police believed that criminal offences had been committed. At his request, the State government asked the Commonwealth to reveal the names of the participants, so that police inquiries could proceed. On the participants' application, Dawson J in the original jurisdiction of the High Court granted interlocutory injunctions restraining the Commonwealth and other parties (the *defendants*) from disclosing their identities unless it should be determined by pending actions that the confidentiality clauses in the plaintiffs' employment contracts were unenforceable.

The Victorian legislature then passed the *Criminal Proceedings Act 1984*, a statute of limited duration, which empowered courts determining matters relating to Australian security to sit as closed courts. Further, the *Judiciary Amendment Act 1984* (Cth) gave binding effect to orders made by a court pursuant to the Victorian Act in respect of matters arising out of the 1983 ASIS incident at the Sheraton Hotel.

The Commonwealth then applied to have the interlocutory injunctions dissolved upon the ground that the intervening legislation had removed any concern about national security and had left the plaintiffs to seek relief only on the threatened breach of a contractual term which was unenforceable on grounds of public policy. Dawson J refused to dissolve the injunctions and thereafter stated a case for the consideration of the Full Court.]

DEANE J: [592] These five cases illustrate the abiding wisdom of the biblical injunction against putting one's "trust in men in power" (Psalms 146:3; Jerusalem Bible, p 927). The plaintiffs have been described without dissent as "upright, decent men serving their country". The two rocks upon which they founder are however propositions of law which are not to be moved to meet the exigencies of hard cases. Shortly and relevantly stated, those propositions are: (i) that neither the Crown nor the Executive has any common law right or power to dispense with the observance of the law or to authorise illegality and (ii) that the courts of this country will not enforce the terms of a promise not to disclose information in circumstances where such enforcement would obstruct the due administration of the criminal law ….

[593] The five plaintiffs' trust in the Commonwealth and in those who approved the exercise or gave them their directions or instructions was completely misplaced. The "authority or consent necessary to make any act or thing lawful" was not obtained and, in the absence of special statutory provision, was probably not within the power of any person or combination of persons to grant. The "direction" to participate in the exercise, in the manner in which it was carried out, was a direction which the Commonwealth Executive could not lawfully give. To the extent that the five plaintiffs may themselves have been involved in criminal activities, the "Commonwealth exercise cards" which they

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were "instructed … to show" should they be questioned were completely ineffectual to establish legal justification. The criminal law of this country has no place for a general defence of superior orders or of Crown or Executive fiat.

The concerted action, the breaking open of the door with a sledge hammer, the "jostling" of the hotel manager, the firearms including automatic weapons and the masks combined to raise at least a reasonable apprehension that criminal offences had been committed and to call for investigation by the Victoria Police Force in the ordinary administration of the criminal law of that State … [594] It is common ground that misprision of felony is defunct in Victoria and that none of the defendants is under any legal duty to disclose the relevant information either to the Chief Commissioner of Police or anyone else. In the absence of any such duty, the ordinary position under the law applies and each of the defendants is at liberty to remain silent and to preserve the confidentiality of his or its information (cf *Baker v Campbell* (1983) 57 ALJR 749 at 773).

The stated case in the first action records that it was a "term" of the "contract of employment" of each of the five plaintiffs "with the Commonwealth" that his identity would be kept confidential and in particular that, except to the extent "necessary for the conduct of the functions of ASIS", there would not be disclosed "to any person" his name, address or any act or thing done by him in the course of his training or work with ASIS. The defendants do not suggest that disclosure of the names of any of the plaintiffs is in any way "necessary for the conduct of the functions of ASIS" …. Their … defence is that that provision of the contract is, to the extent that it would prevent disclosure to the Commissioner of Police of the identity of the relevant plaintiff in the circumstances which have arisen, void and unenforceable ….

[595] [T]he defendants' argument based on public policy must prevail. The relevant proposition of law was shortly stated at the commencement of this judgment. It is that the courts of this country will not lend their aid to enforce a promise not to disclose information where the circumstances are such that enforcement or insistence upon observance of the promise would obstruct the due administration of the criminal law of Australia, whether Commonwealth or State. The rationale of that proposition is that, apart from the exceptional case (such as that of a professional legal adviser) where the overall administration of the law itself requires that confidentiality be maintained, it would be contrary to public policy for the courts to enforce a right on the part of one person to insist that another fail or refuse to disclose relevant information to assist those entrusted with the ordinary administration of the criminal law in the proper investigation and prosecution of criminal activity: the enforcement by the courts of such a private right to insist that another fail or refuse to disclose relevant information would involve the courts in the obstruction of the due administration of the criminal law which is a mainstay both of the rule of law which they exist to serve and of the very existence of effective private rights. For the purposes of that proposition, the investigation of actual or reasonably apprehended criminal activity by a regular law enforcement agency of the Commonwealth or of a State is part of the administration of the criminal law. Whether enforcement or observance of a term of a particular promise of confidentiality would obstruct that administration is a question [596] which must be determined in the context of the circumstances of the particular case. Plainly enough, the enforcement of such a promise by an order forbidding a threatened voluntary disclosure to the Commissioner of a State Police Force of the identity of the participants in joint activity which involved actual or reasonably apprehended offences against the criminal law of that State would involve obstruction of the due administration of that criminal law.

In stating the relevant proposition in terms of unenforceability by the courts, I have avoided the question whether a general contractual promise which, properly construed, requires the maintenance of confidentiality notwithstanding that the administration of the criminal law will be obstructed thereby is wholly or partially "illegal", "void" or "invalid". That question raises problems of terminology and substance, including the nature and effect of any distinctions between "illegal", "void", "invalid" and "unenforceable" (cf *Brooks v Burns Philp Trustee Co Ltd* (1969) 121 CLR 432 at 458ff; *Buckley v Tutty* (1971) 125 CLR 353 at 379ff) and the identification of the precise principles governing the residual enforceability (if any) of such a general contractual promise to the extent that the maintenance of

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confidentiality would not adversely affect the due administration of the criminal law. At one end of the scale is the case where the direct and immediate operation of the contractual promise to preserve confidentiality is to obstruct the due investigation of crime by concealing information about criminal activity and where it would seem clear enough that the promise itself is tainted with illegality and is void. At the other end of the scale is the case where a general promise of confidentiality is innocently given and where it is only in remote and unforeseen circumstances that an adverse effect upon the due administration of the criminal law would result from its observance: in such a case, there is much to be said for the view that the result is superseding unenforceability merely to the extent that observance of the promise would have such an adverse affect. Those questions have not, however, been investigated in argument in the present actions and they are best left to another day …

[597] It was submitted on behalf of the plaintiffs that there should be weighed against any considerations of public interest favouring disclosure of their identity to the Chief Commissioner of Police a variety of countervailing considerations of public interest, including considerations going to national security, which militate against such disclosure. If this Court were required to determine the overall balance of competing considerations of public interest, there would be much force in that submission since the considerations favouring preservation of the confidentiality of the identity of the plaintiffs, though varying from case to case, are substantial and counsel for the plaintiffs have convincingly demonstrated the inadequacies of the Commonwealth-Victorian legislative scheme which offers no effective protection against disclosure of the identity of a plaintiff charged with an offence unless and until the court (be it Supreme Court or Justice of the Peace) before which he is charged is persuaded, in the exercise of a largely unconfined statutory discretion, to order that justice be administered in secret (see *Criminal Proceedings Act 1984* (Vic) and *Judiciary Amendment Act 1984* (Cth)). In the present actions however, the Court is not concerned to perform the type of balancing exercise which may be involved in deciding whether disclosure or production of documents should be ordered or evidence should be compelled or received (cf *Sankey v Whitlam* (1978) 142 CLR 1 at 38–9, 56ff, 95–6). While general considerations of public policy, such as considerations of national security, may prevail over a prima facie entitlement to discovery, production or disclosure in the actual course of the administration of justice by the courts (see, eg, *Gaming Board of Great Britain v Rogers* [1973] AC 388), they provide neither foundation nor justification for the making by a court of a positive order which would obstruct the due administration of the criminal law at the suit of one who is asserting some contractual or other private right. The proposition that the courts of this country will not lend their aid to enforce a promise not to disclose information where the circumstances are such that enforcement or insistence upon observance of the promise would obstruct the due administration of the criminal law which it is a function of the courts to advance is not a provisional one which is subject to being overruled by some [598] perceived balancing of other considerations of public interest. In some cases, of course, a balancing process may be involved in determining whether the enforcement of a promise to maintain confidentiality has the overall effect of advancing, rather than obstructing or adversely affecting, the due administration of the criminal law. The obvious example is where the promise to maintain confidentiality is that of a professional legal adviser and relates to communications which are properly the subject of legal professional privilege (see, eg, *Weld-Blundell v Stephens* [1919] 1 KB 520 at 544–5, 547; *Grant v Downs* (1976) 135 CLR 674, at p 688; *Baker v Campbell*, at 774–5). Once it appears, however, that enforcement or insistence upon observance of such a promise would obstruct the due administration of the criminal law, the principle which precludes enforcement by the courts is operative without any further weighing process being necessary or other considerations of public interest being relevant. Indeed, the position of the ordinary individual under the law would be such as to make non-disclosure the only safe course if he were unable to ascertain whether he was under an enforceable obligation to observe a promise to maintain confidentiality unless and until it was known whether it would ultimately be held that other considerations, such as matters of national security of which he might well be completely unaware, outweighed the obstruction of the due administration of the criminal law which enforcement or observance of the promise would involve. While one would expect the considerations of public interest upon which the plaintiffs rely to weigh heavily with the defendants on the question whether the identity of all or any of the plaintiffs should

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be disclosed by the Commonwealth to the Commissioner of Police, they are simply not in point in so far as the five actions in this Court are concerned …

[MASON, MURPHY and BRENNAN JJ delivered separate judgments, and WILSON and DAWSON JJ delivered a joint judgment, in which they also held that no enforceable duty was owed by the Commonwealth to the plaintiffs to treat as confidential their identities or the details of their training or work for ASIS and that although such disclosure would be a breach of the term of confidentiality in their respective contracts of employment, that the term was unenforceable. Accordingly, the plaintiffs were not entitled to an injunction to restrain the defendants from disclosing to the Chief Commissioner of Police information as to their identity. GIBBS CJ held the determination of further facts was necessary to decide whether the enforcement of the Commonwealth's duty of confidentiality would in fact tend to obstruct the course of justice.]

[41.30] **Note**

In the course of their joint judgment in the principal case, Wilson and Dawson JJ said (at 574): "there may be cases where the triviality of the alleged breaches of the criminal law will not lead a court to withhold relief by way of injunction to restrain a threatened breach of a duty of confidentiality …."

CONTRACTS INVOLVING CRIME, TORT OR BREACH OF STATUTE

Contracts requiring or contemplating illegal acts

[41.35] A contract which requires, or contemplates the possibility of, the commission of a crime, tort or breach of statute may be declared void or unenforceable on the basis that it is contrary to public policy. However, the rule against enforcement is not inflexible. Ultimately, whether a contract is declared unenforceable will depend upon the seriousness of the wrong in question and the consequences of declaring the contract unenforceable.

North v Marra Developments

[41.40] *North v Marra Developments Ltd* (1981) 148 CLR 42 (High Court of Australia) – Appeal from the Court of Appeal Division of the Supreme Court of New South Wales.

[FACTS: The directors of a public company Marra (the *respondent*, *defendant*) considered that the market price of its shares did not reflect the true value of its assets and that the company was vulnerable to a takeover. On the advice of members of North, a stockbroking firm (the *appellants*, *plaintiffs*), the directors proposed that the respondent's capital should be reconstructed, that it should make a bonus issue of shares and that it should offer to take over or merge with another company, Scottish Australia Homes Ltd (*Scottish*). It was considered critical to the success of the proposed takeover that the market price of the respondent's shares should rise to around $16.50. After notice of the proposed reconstruction and bonus share issue was relayed to the Sydney Stock Exchange and made public in the press, but before the announcement of the takeover offer, the appellants, following advice they themselves had given the respondent, bought quantities of shares in the respondent on the stock exchange at $16.50. This was a price higher than that of previous sales and was done to "establish the market". The appellants continued to purchase after the takeover offer

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was announced. The shares were bought for a company associated with the appellants and for the directors of the respondent. In statements made to the Stock Exchange and the press and in the formal offer to the shareholders of Scottish, $16.50 was referred to as "the sale price", "the market price" or "the market value" of the shares. The takeover was successful. The appellants sued the respondent for reasonable fees in respect of advice and negotiations for the reconstruction of the respondent's capital to reflect more appropriately its asset backing and as a basis of a takeover offer to Scottish. The appellants' claim made no mention of any arrangement to support the price of the respondent's shares on the market. The respondent pleaded illegality, alleging that the transaction between the parties contravened s 70 of the *Securities Industry Act 1970* (NSW) and was also illegal at common law. Section 70 provided: "A person shall not create or do anything which is calculated to create, a false or misleading appearance of active trading in any securities on any stock market in the state, or a false or misleading appearance with respect to the market for, or the price of, any securities."

The trial judge, Meares J, dismissed the claim on the ground that the agreement between the parties involved a breach of s 70. On appeal to the Court of Appeal, the judgment was affirmed. Hope and Samuels JJA held that the transaction between the parties was in breach of s 70. Mahoney JA (with whom Hope and Samuels JJA concurred) held that the claim arose out of an agreement that was illegal at common law. The appellants appealed to the High Court.]

MASON J: [55] Mahoney JA found, rightly in my view, that: "… there had been devised by the plaintiffs (appellants) and agreed to by the defendant, a scheme which involved, inter alia, that there would be a reconstruction of the defendant's share capital; that … the plaintiffs and directors of the defendant would, by transactions on the Sydney Stock Exchange, 'establish a market' for Marra shares at $16.50 or thereabouts;" that a takeover offer by Marra for Scottish shares would be made involving an exchange of shares in the two companies; "and that the Stock Exchange price so 'established' for Marra shares would be … utilised in relation to that takeover offer." …

[56] Mahoney JA's finding is criticized because it fails to give effect to the uncontradicted expert evidence of Mr Tilley, that an agreement to buy "at" a nominated price is an agreement to buy "at best" up to that price. Mr Tilley's evidence would be of value if we were concerned to ascertain the effect of a simple agreement between broker and client without a constraining context. Here the substance of the agreement was very different – it was an agreement to buy specifically at $16.50 or thereabouts in order to attain a particular goal. Consequently, I agree with Mahoney JA: "… that it was not the purpose of the plaintiffs to buy the shares that they did at the lowest price reasonably obtainable; that the reason why they bought shares as they did was so that the Stock Exchange price of Marra shares would appear publicly to be $16.50 per share or of that general order; and that they did this so that that price could be used to advantage in connection with, at least, the takeover" of Scottish shares.

His Honour went on to find that the references in the three documents prepared by the appellants to the Stock Exchange price of the shares were misleading. In these documents $16.50 was referred to variously as the "sale price", the "market sale price", "market price" and "market value". These references, unaccompanied by any disclosure of the nature and extent of the appellants' operations in the market, were, he thought, apt to mislead the reader of the documents as to the significance which should be attached to [57] the price. I agree. His Honour also found that the appellants must have realized this, their purpose being to influence those who had occasion to consider Marra's offer to take over Scottish shares. Another criticism made of his Honour's findings is that he failed to take account of the conclusion of the primary judge that he was "not reasonably satisfied that the plaintiffs' activities had the effect of raising the price of the shares above their market value". Meares J thought that the prices paid over the relevant period reflected prices which one would have expected the market to pay. With respect to the primary judge, this view seems to give no weight to the importance which the appellants attached to their

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action in "establishing" a market, to the marked preponderance of their activity in the market for Marra shares and to the dramatic fall in the price of the shares once the appellants' support and that of Marra directors was withdrawn …

[58] The relevant prohibition in the section is against creating, or causing to create, or doing anything which is calculated to create, "a false or misleading appearance with respect to the market for, or the price of, any securities".

In terms the statutory prohibition is directed against activity which is designed to give the market for securities or the price of securities a false or misleading appearance. In this setting, "calculated" means "designed" or "intended" rather than "adapted" or "suited". It is not altogether easy to translate the generality of this language into a specific prohibition against injurious activity, whilst at the same time leaving people free to engage in legitimate commercial activity which will have an effect on the market and on the price of securities. Purchases or sales are often made for indirect or collateral motives, in circumstances where the transactions will, to the knowledge of the participants, have an effect on the [59] market for, or the price of, shares. Plainly enough it is not the object of the section to outlaw all such transactions.

It seems to me that the object of the section is to protect the market for securities against activities which will result in artificial or managed manipulation. The section seeks to ensure that the market reflects the forces of genuine supply and demand. By "genuine supply and demand" I exclude buyers and sellers whose transactions are undertaken for the sole or primary purpose of setting or maintaining the market price. It is in the interests of the community that the market for securities should be real and genuine, free from manipulation. The section is a legislative measure designed to ensure such a market and it should be interpreted accordingly ….

When purchases have been made of shares in a company at or about a particular level for the purpose of setting and maintaining a market price for those shares there is a breach of the statutory prohibition. At the very least purchases have then been made which are calculated to create "a false or misleading appearance with respect to the market for, or the price of" the shares. In reality the purchases are calculated to create a false market or false price. The false or misleading appearance is that the market, in the absence of any disclosure that a market support operation is on foot, appears to be real or genuine, there being no overt sign of market support or manipulation.

In passing I note that it is enough to breach the section that the activities are calculated to create a false or misleading appearance. It is not necessary that they do in fact create that appearance ….

The question then is whether the contravention of the section results in an illegality so as to prevent the appellants from recovering [60] their remuneration. On the inferences drawn by the Court of Appeal the original agreement between the parties was one which from its inception contemplated the possibility of a breach of s 70 as a means of executing the scheme which the parties agreed should be carried into execution. As events fell out what was a contemplated possibility became an actuality – the appellants carried out their part of the contract by contravening s 70. It makes no difference that Marra acquiesced in what was done. The appellants' performance of the agreement involved an illegality and the agreement itself envisaged this as a possibility. The appellants fail, not because the agreement on which they sue is avoided by s 70, but because the performance on which they rely involved illegal conduct …

Quite apart from contravention of s 70, the inferences drawn establish that the appellants' claim was affected by common law illegality. The appellants' claim for remuneration was based on the commission of fraudulent conduct, the making of statements which were and were known to be misleading with a view to deceiving the Scottish shareholders. A claim for remuneration for fraudulent conduct is defeated by the illegality principle (*ET Fisher & Co Pty Ltd v English Scottish and Australian*

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Bank Ltd (1940) 64 CLR 84 at 91, 103). The general principle was expressed by Lindley LJ in *Scott v Brown, Doering, McNab & Co* [1892] 2 QB 724 at 728–9 in these terms:

> In this case the correspondence put in evidence by the plaintiff in support of the claim he made at the trial shews conclusively that the sole object of the plaintiff in ordering shares to be bought for him at a premium was to impose upon and to deceive the public by leading the public to suppose that there were buyers of such shares at a premium on the Stock Exchange, when in fact there were none but himself. The plaintiff's purchase was an actual purchase, not a sham purchase; that is true, but it is also true that the sole object of the purchase was to cheat and mislead the public. Under these circumstances, the plaintiff must look elsewhere than to a court of justice for such assistance as he may require against the persons he employed to assist him in his fraud, if the claim to such assistance is based on his illegal contract.

As the fraud and illegality (common law and statutory) was a contemplated means of performing the contract and became an integral element in the appellants' performance of the contract there is no basis for treating the fraud and the illegality as collateral only [61] or fraud as severable from the remainder of the work undertaken by the appellants. In the result the appeal should be dismissed.

[MURPHY and WILSON JJ agreed with Mason J. STEPHEN and AICKIN JJ agreed with Mason J and stated that the appeal should be dismissed on the basis that the agreement and its performance involved an offence under s 70. They were unable to agree that the conduct of the parties constituted a conspiracy to deceive.]

Appeal dismissed.

[41.45] **Note**

If the illegal act contemplated by the contract is of a quite minor nature, the contract may not be held contrary to public policy: see *Electric Appliance Pty Ltd v Doug Thorley Caravans (Australia) Pty Ltd* [1981] VR 799.

Contracts performed in an illegal manner

[41.50] If a legal contract is performed by one of the parties in an illegal manner, and this was not contemplated by the other party, the innocent party may raise the defence of illegality if sued by the guilty party. In such a case, the innocent party is not saying the contract itself is illegal – as that might rule both parties out of court – but rather that the guilty party cannot rely on an illegal act to obtain relief: ex turpi causa non oritur actio (no action arises from a base cause). The defence of illegality will not, however, necessarily succeed. The court considers public policy reasons for and against the enforcement of the contract, including the aims of any relevant statute. For an example, see *Yango Pastoral Co Pty Ltd v First Chicago Australia* (1978) 139 CLR 410, 427–31, extracted at [40.35].

Contracts associated with illegality

[41.55] Where a contract is associated with the contravention of a statute but is not prohibited by the statute, guidelines to assist a court in determining whether the contract should be enforced were stated and applied in the following case.

Fitzgerald v FJ Leonhardt

[41.60] *Fitzgerald v FJ Leonhardt Pty Ltd* (1997) 189 CLR 215 (High Court of Australia) – Appeal from the Northern Territory Court of Appeal.

[FACTS: Fitzgerald (the *owner*) owned land in the Northern Territory, which he planned to subdivide. It was a requirement of any proposed subdivision that water be located there with a flow of at least 500 gallons per hour. The owner contracted with FJ Leonhardt Pty Ltd (the *driller*) for the drilling of a minimum of three bores. The driller drilled seven bores, three of which were successful in producing water. A dispute arose as to how much was owed by the owner to the driller, and the driller brought an action in the Local Court in Darwin claiming $25,540 as money due under the contract.

The owner raised a defence of illegality under Div 3 of Pt 6 of the *Water Act 1992* (NT). Under s 56(1) "a person shall not, unless authorised by or under this Act, cause, suffer or permit a bore to be drilled, constructed … or sealed off" (penalty for a first offence was stated to be $5,000). Section 57 empowered the Controller of Water Resources (the *Controller*) to grant to a person a permit to carry out an operation referred to in s 56(1). In the present instance no permits were issued for any bore to be drilled.

In Div 2 of Pt 6 of the Act, s 48 prohibited a person from drilling a bore unless that person was the holder of a drilling licence issued under s 49 by the Controller. The driller held such a drilling licence.

The Local Court held that the driller was seeking to recover under an illegal contract and disallowed the claim. An appeal by the driller to the Supreme Court was successful. An appeal by the owner to the Northern Territory Court of Appeal was dismissed. The owner appealed to the High Court.]

MCHUGH AND GUMMOW JJ: [226] This is not a case where the statute contained an express prohibition against the making of the contract in question. The Act did prohibit the owner doing or suffering particular acts without the authority of a permit granted by the Controller under s 57(1). An agreement that the owner engage in such activity may have been treated as impliedly prohibited by the Act and as illegal (*Nelson v Nelson* (1995) 184 CLR 538 at 551–2, 593, 611). However, that is not the owner's case. The contract as framed did not call for the commission of any illegality. Nor did the statute prohibit some particular act that was essential for carrying out the contract. Performance of the work would have answered the requirements of the contract if the owner had obtained licences under s 57. In *Archbolds (Freightage) Ltd v S Spanglett Ltd* [1961] 1 QB 374 at 391 Devlin LJ said:

> It is a familiar principle of law that if a contract can be performed in one of two ways, that is, legally or illegally, it is not an illegal contract, though it may be unenforceable at the suit of a party who chooses to perform it illegally. That statement of the law is meaningful if the contract is one which is by its terms open to two modes of performance; otherwise it is meaningless.

In the present case, it was possible for the contract to be performed without contravening the Act. In so far as the contract was performed in contravention of the legislation, the contravention was the consequence of failure by the owner to observe requirements imposed upon him. There was no failure by the driller to observe requirements placed upon it by the Act. The driller satisfied the requirements for a drilling licence imposed by Div 2 of Pt 6 and it was for the owner to comply with the requirements of Div 3.

On this appeal, the oral submissions were presented on the footing that in accordance with its terms the contract could have been performed and the bores constructed and drilled with or without the existence of a permit granted under s 57. That may have insufficiently represented the true position. The better view would appear to have been that each party to the contract agreed to do all that was necessary on its part to enable the other party to have the benefit of performance of the contract (*Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 at 607–8), so that there was an implied undertaking by the owner to procure the grant of any bore construction permits required under the Act for the construction and drilling of the bores by the driller (cf *Archbolds (Freightage) Ltd v S Spanglett Ltd* [1961] 1 QB 374 at 392–3).

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The action by the driller to recover moneys owing to it by the owner [227] was not an action by a party to a contract who had chosen to perform it illegally. The penalty imposed by s 56(1) was directed at a party in the position of the owner rather than the driller. Further, it has not been suggested that the driller acted otherwise than in good faith or that the driller had aided and abetted the owner in any offence committed by him, within the meaning of the principles considered in *Giorgianni v The Queen* (1985) 156 CLR 473 at 487–8, 490–1, 506–7 and *Yorke v Lucas* (1985) 158 CLR 661 at 667–8, 676 (see also *Archbolds (Freightage) Ltd v S Spanglett Ltd* [1961] 1 QB 374 at 385, 388).

The question then becomes whether, as a matter of public policy, the court should decline to enforce the contract because of its association with the illegal activity of the owner in, if not causing, then at least suffering or permitting the construction and drilling of bores, within the meaning of s 56(1), without the grant to the owner of permits pursuant to s 57. The refusal of the courts in such a case to regard the contract as enforceable stems not from express or implied legislative prohibition but from the policy of the law, commonly called public policy (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 429–30, 432–3; *Nelson v Nelson* (1995) 184 CLR 538 at 551–2, 593, 611). Regard is to be had primarily to the scope and purpose of the statute to consider whether the legislative purpose will be fulfilled without regarding the contract as void and unenforceable (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 434).

Section 56 prescribes a penalty. In such a case, the role of the common law in determining the legal consequences of commission of the offence may thereby be diminished because the purpose of the statute is sufficiently served by the penalty (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 429, 433–4; *Nelson v Nelson* (1995) 184 CLR 538 at 570, 590–1, 614, 616). Here, the imposition of an additional sanction, namely inability of the driller to recover moneys otherwise owing by the owner, would be an inappropriate adjunct to the scheme for which the Act provides. The contrary decision would cause prejudice to an innocent party without furthering the objects of the legislation …

[228] Here, the driller had complied with licensing requirements imposed by Div 2 of Pt 6 for the conduct of its business. This is not the case of an unlicensed driller seeking to recover for work done in contravention of the prohibition imposed by s 48 upon drilling or constructing bores without the grant of a drilling licence. The claim which is made by the driller is insufficiently associated with breach of the requirements of Div 3 by the owner, the party resisting the claim. Put another way, the interest of the Territory in controlling, by the statutory licensing system, the right of owners to take water under s 14 may be maintained without imposing a sanction upon the party in the position of the driller which would deny it payment for the work performed and would leave the other party with the benefit of that work free of charge. The imposition of such a sanction upon the driller by failing to keep the owner to his bargain would be disproportionate to the seriousness of the breaches of s 56 and would be unnecessary to protect the objects or policies of the Act. (See *Nelson v Nelson* (1995) 184 CLR 538 at 613; Creighton, "The Recovery of Property Transferred for Illegal Purposes" (1997) 60 *Modern Law Review* 102 at 108.)

In *Nelson v Nelson* (1995) 184 CLR 538 at 604–5 McHugh J referred to the dictum of Lord Mansfield in *Holman v Johnson* (1775) 1 Cowp 341; 98 ER 1120 at 343 (Cowp), 1121 (ER) that no court would lend its aid to a plaintiff founding the cause of action upon an immoral or illegal act. In *Holman v Johnson* itself, the actual holding was that the contract in question was insufficiently associated with or in furtherance of the illegal purpose of the defendant in buying tea to be smuggled into England without payment of customs duties (*Nelson v Nelson* (1995) 184 CLR 538 at 554–5). McHugh J identified (at 604–5) authorities subsequent to *Holman v Johnson* which were to be seen as providing four exceptions or qualifications whereby relief was granted despite the presence of illegality. Three of these, those concerned with ignorance or mistake on the part of the claimant; the character of the statutory scheme as one for the benefit of a class of which the claimant is a member; and fraud, oppression or [229] undue influence by the defendant, have been treated as instances of a broader principle. This is said to be that, notwithstanding the illegality, relief may still be available to the plaintiff if the plaintiff not be in equal fault with the defendant, that is to say not in pari delicto. (Palmer, *The Law of Restitution*, (1978), vol 2, par 8.6. See also *Kiriri Cotton Co Ltd v Dewani* [1960] AC 192 at 205, where it was said, with respect to legislation forbidding the receipt of premiums from

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tenants that neither the rich tenant who paid a premium as a bribe in order to "jump the queue" nor the poor tenant at wit's end to find accommodation was as much to blame as the landlord who was using his property rights so as to exploit those in need of a roof over their heads.) However, in the light of the approach taken in *Nelson v Nelson* to comparable questions arising with respect to trusts, the issues of contract law in this case should not be approached by considering any general in pari delicto doctrine. The preferable course, in cases of contract alike to those involving trusts, is as follows. A case may come within one of the accepted exceptions or qualifications to *Holman v Johnson*. As indicated above, these are set forth, with examples from authority, in the following passage from the judgment of McHugh J in *Nelson v Nelson* (1995) 184 CLR 538 at 604–5:

> First the courts will not refuse relief where the claimant was ignorant or mistaken as to the factual circumstances which render an agreement or arrangement illegal (*Oom v Bruce* (1810) 12 East 225; 104 ER 87; *Cowan v Milbourn* (1867) LR 2 Ex 230; *Branigan v Saba* [1924] NZLR 481). Second, the courts will not refuse relief where the statutory scheme rendering a contract or arrangement illegal was enacted for the benefit of a class of which the claimant is a member (*Kiriri Cotton Co Ltd v Dewani* [1960] AC 192). Third, the courts will not refuse relief where an illegal agreement was induced by the defendant's fraud, oppression or undue influence. (*Clarke v Shee* (1774) 1 Cowp 197; 98 ER 1041; *Smith v Cuff* (1817) 6 M & S 160; 105 ER 1203; *Williams v Bayley* (1866) LR 1 HL 200; *Goodfriend v Goodfriend* [1972] SCR 640; *Weston v Beaufils [No 2]* (1994) 50 FCR 476 at 499). Fourth, the courts will not refuse relief where the illegal purpose has not been carried into effect (*Payne v McDonald* (1908) 6 CLR 208 at 211–12; *Perpetual Executors & Trustees Association of Australia Ltd v Wright* (1917) 23 CLR 185 at 193–4; *Martin v Martin* (1959) 110 CLR 297 at 305).

Even if the case does not come within one of those exceptions, the courts should not refuse to enforce contractual rights arising under a contract, merely because the contract is associated with or in furtherance of an illegal purpose, where the contract was not made in breach of a statutory prohibition upon its formation or upon the doing of a particular act essential to the performance of the contract or otherwise making unlawful the manner in which the contract is performed. Rather, the policy of the law should accord with the [230] principles set out by McHugh J in *Nelson v Nelson*. His Honour said (at 613):

> Accordingly, in my opinion, even if a case does not come within one of the four exceptions to the *Holman* dictum to which I have referred, courts should not refuse to enforce legal or equitable rights simply because they arose out of or were associated with an unlawful purpose unless: (a) the statute discloses an intention that those rights should be unenforceable in all circumstances; or (b)(i) the sanction of refusing to enforce those rights is not disproportionate to the seriousness of the unlawful conduct; (ii) the imposition of the sanction is necessary, having regard to the terms of the statute, to protect its objects or policies; and (iii) the statute does not disclose an intention that the sanctions and remedies contained in the statute are to be the only legal consequences of a breach of the statute or the frustration of its policies (Elements (ii) and (iii) may often overlap).

As we have indicated, if the present case be approached in that way, the result is that the defence of illegality correctly failed and there was no bar to the full recovery by the driller of the amount claimed.

It may be observed that *Pavey & Matthews Pty Ltd v Paul* (1987) 162 CLR 221 was decided consistently with these principles. This Court held that s 45 of the *Builders Licensing Act 1971* (NSW), whilst it provided that certain building contracts were not enforceable by the builder against the customer, did not prevent the bringing by the builder of an action for the value of the work done and materials supplied. Deane J said (at 262):

> There is no apparent reason in justice why a builder who is precluded from enforcing an agreement should also be deprived of the ordinary common law right to bring proceedings on a common indebitatus count to recover fair and reasonable remuneration for work which he has actually done and which has been accepted by the building owner: cf *Johnsons Tyne*

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> *Foundry Pty Ltd v Maffra Corporation* (1948) 77 CLR 544 at 565. Nor, upon a consideration of the words of s 45 in their context in the Act, am I able to identify any legislative intent to deprive the builder of that ordinary common law right. The section does not make an agreement to which it applies illegal or void. Nor do its words disclose any legislative intent to penalise the builder beyond making the agreement itself unenforceable by him against the other party.

Special considerations may arise in a case where, for example, the objects or policies of the statute indicate that the association between [231] the plaintiff's contractual or other legal rights and the statutory illegality requires that denial of relief be partial rather than entire. Where the plaintiff seeks equitable relief, whether in aid of a legal or equitable right, equity may impose terms. For example, a borrower coming to equity seeking such equitable relief as orders for cancellation and delivery up of a written contract declared void by statutes against usury, would be put on terms that the defendant be paid what was really bona fide due after deduction of the excessive interest (see *Nelson v Nelson* (1995) 184 CLR 538 at 562). If the lender already had recovered judgment for the full amount, the borrower may have an equity to restrain enforcement of the judgment in respect of the amount representing excessive interest.

However, the flexibility attending the administration of equitable relief is not so readily available where what is claimed is a legal remedy in aid of a legal right and there is no equity to qualify or displace, wholly or partially, enforcement of that legal right. Nevertheless, as was pointed out in *Hurst v Vestcorp Ltd* (1988) 12 NSWLR 394 at 445–6 what may now be classified as restitutionary remedies may be available to assist in the striking of a balance. For example, it was held long ago that where a borrower had paid interest in excess of the rate permitted by statute, whilst the debtor could not recover the whole back, an action would lie to recover the surplus (*Smith v Bromley*, reported as a note to *Jones v Barkley* (1781) 2 Dougl 684, 697; 99 ER 434, 444; Stoljar, *The Law of Quasi-Contract* (2nd ed, 1989) at pp 228–9; Palmer, *The Law of Restitution*, (1978), vol 2 par 9.14). The use of the quantum meruit in *Pavey & Matthews Pty Ltd v Paul* may be seen as another example. Set-off may also have a role to play in adjusting the respective final positions of the parties. However, it is unnecessary to consider further any such questions, the present being a plain case. The appeal should be dismissed with costs.

[41.62] KIRBY J: [231] Illegality, and the associated problems of statutory construction and public policy, have been described as a "shadowy" (*Nelson v Nelson* (1995) 184 CLR 538, 595) and "notoriously difficult" (*Ross v Ratcliff* (1988) 91 FLR 66, 67) area of the law where there are "many [232] pitfalls" (*Archbolds (Freightage) Ltd v S Spanglett Ltd* [1961] 1 QB 374 at 393). Many of the authorities on the point are difficult to reconcile (*Fitzgerald v F J Leonhardt Pty Ltd* (1995) 5 NTLR 76 at 83, per Angel J). Commentators claim that some of them are marked by "obscurities, supposed distinctions and questionable techniques of decision" (Gelborn, "Contracts and Public Policy", *Columbia Law Review*, vol 35 (1935) 679, at p 679 cited in Stowe, "The 'Unruly Horse' has Bolted: Tinsley v Milligan" (1994) 57 *Modern Law Review* 441, 442-443). They suggest that this is an area of the law which is "intensely controversial and confused" (Phang, "Of Illegality and Presumptions – Australian Departures and Possible Approaches" (1996) 2 *Journal of Contract Law* 53, 53). The House of Lords has recently proposed that it is ripe for thorough re-examination by the Law Commission so that it may be subjected to legislative reform (*Tinsley v Milligan* [1994] 1 AC 340 at 364). Special concern has been expressed about the danger that illegality, in some way connected with a contract, will (unless tightly controlled) let loose the "unruly horse" (*Richardson v Mellish* (1824) 2 Bing 229 at 252) of public policy to a "blind gallop through the doctrinal forests of [the law]" (Stowe, "The 'Unruly Horse' has Bolted: Tinsley v Milligan" (1994) 57 *Modern Law Review* 441, 449). Various other equine metaphors are invoked to express the suggested dangers of uncertainty and the potentially harsh and unjust (See Rose, "Confining Illegality" (1996) 112 *Law Quarterly Review* 545, 545) outcomes that would follow enlargement of court discretions to decline relief on the ground that a contract is somehow touched by illegality (See *Shaw v Groom* [1970] 2 QB 504 at 523; Forder, "Taming the unruly horse!

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Contractual illegality and public policy: Fitzgerald v F J Leonhardt Pty Ltd" (1997) 3 *High Court Review* 1 at par 82) …

[236] Special leave was granted to the appellant to permit it to argue two legal points raised by the foregoing facts:

1. Whether the Act, properly construed, expressly or impliedly rendered those parts of the contract, as formed or performed, illegal such that they were void and therefore unenforceable: ("The construction point").

2. Whether, even if the Act did not render the contract, as formed or performed, illegal and therefore void, any principle of public policy would stand in the way of the attempted enforcement of the contract: ("The public policy point") …

The construction point – applicable principles

[41.63] [242] The following principles may be derived from past authority to assist in the resolution of the application of the Act to the contract in question here and its performance:

1. The first task of a court is to ascertain the meaning and application of the law which is said to give rise to the illegality affecting the contract. The law in question may be a rule of the common law but nowadays it is much more likely to be a provision of legislation. The substantial growth of legislative provisions affecting all aspects of the society in which contracts are made presents a legal environment quite different from that in which the doctrine of illegality was originally expressed (*Nelson v Nelson* (1995) 184 CLR 538 at 611). Courts, in this area, are faced with a dilemma. They do not wish to deprive a person of property rights, eg under a contract, least of all at the behest of another person who was also involved in a breach of the applicable law. On the other hand, they do not wish to "condone or assist a breach of statute, nor must they help to frustrate the operation of a statute" (*Nelson v Nelson* (1995) 184 CLR 538 at 611). That is why the first function of the court, where a breach of a legislative provision is alleged, is to examine the legislation so as to derive from it a conclusion as to whether a relevant breach is established and, if so, what consequences flow either from the express provisions of the legislation or from implications that may be imputed to the legislators (cf *Attorney-General (NSW); Ex rel Franklins Stores Pty Ltd v Lizelle Pty Ltd* [1977] 2 NSWLR 955 at 964-965). Little, if any, assistance will be derived for the ultimate task of a court from examination of the terms of other statutes or judicial classifications of them or by reference to their meaning as found (*Tasker v Fullwood* [1978] 1 NSWLR 20 at 23).
2. Occasionally, the legislation in question will expressly provide for the consequence of illegality upon contracts made or performed in breach of its terms. In such a case the entire contract may, depending on the terms of the statute, be void and its performance unlawful as contrary to the express will of Parliament (*Anderson Ltd v Daniel* [1924] I KB 138 at 149). The duty of a court in such a case is clear. No question of the good faith of the parties or their knowledge or intention is involved (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 283; *Colton v Central District Finance Corporation Ltd* [1965] NZLR 992 at 996). Public policy is not, as such, raised, unless it be the general public policy that the courts [243] should uphold the law of the land (cf *Vita Food Products Inc v Unus Shipping Co Ltd* [1939] 1 AC 277 at 292-293). What is presented is a pure question of the interpretation and enforcement of the legislation. This is a familiar task performed by courts with the usual tools of statutory construction.
3. Ordinarily, legislation does not expressly deal with the consequences of conduct in breach of its terms upon a contract which has been fulfilled in some way in breach of a provision of the law. In such a case, where the law in question is (as it typically is) a statutory provision, it is necessary to ask whether the legislation impliedly prohibits such conduct and renders it illegal. Some judges have suggested that courts today are less willing than in the past to derive an implication of illegality from a legislative provision where Parliament has held back from expressly enacting

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it (*Ross v Ratcliff* (1988) 91 FLR 66 at 67-68; cf *Compass Building Society v Cervara Fifty-Seven Pty Ltd* [1992] 1 VR 48 at 54-55). Certainly, there are plenty of judicial dicta to suggest that courts will be slow to imply, where the applicable legislation is silent, a prohibition which interferes with the rights and remedies given to parties by the ordinary law of contract (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 288; *John S Chappel Pty Ltd v D K Pett Pty Ltd* [1971] 1 SASR 188 at 197; cf *Brownbill v Kenworth Truck Sales (NSW) Pty Ltd* (1982) 59 FLR 56; 39 ALR 191). This reluctance probably grows out of a recognition of the multitude of legislative provisions, important and unimportant, which may nowadays indirectly impinge upon the contractual relations of parties and, if enforced with full rigour, cause harsh and unwarranted deprivation of rights (See discussion Rose, "Confining Illegality" (1996) 112 *Law Quarterly Review* 545). In part, this reluctance may be no more than a species of the general rule of statutory construction that legislation will not be interpreted to deprive parties of basic rights at common law without a clear expression of the legislative will to do so (*Potter v Minahan* (1908) 7 CLR 277 at 304; *Bropho v Western Australia* (1990) 171 CLR I at 18; *Coco v The Queen* (1994) 179 CLR 427 at 436). Some academic commentators have discerned in earlier cases a "misplaced judicial zeal" in deriving from the sparse language of legislation a purpose to strike at private contractual arrangements (Greig and Davis, *The Law of Contract* (1987), p 1117, commenting on *In re Mahmoud and Ispahani* [1921] 2 KB 716). They criticise the reliance on fictions of "legislative intention" where the legislation in question makes no express provision with respect to contracts (Greig and Davis, *The Law of Contract* (1987), P 1118; see also pp 1120-1123). They suggest that implied illegality of contracts should be abandoned, obliging Parliament (if that be its purpose) to make express provision in that regard. But this approach would be contrary to long-established doctrine and to the commonplace that legislation, typically expressed in brief language, may contain implications which are to be derived from its [244] express terms. The duty of courts remains, where legislation is involved, to give meaning to the imputed purpose of Parliament as found in the words used (*Re Bolton; Ex parte Beane* (1987) 162 CLR 514 at 518). It would be artificial to expel implications from the task of legislative construction where they remain an established feature of the interpretation and application of legislation generally.

4. One principle, however, which tends to reinforce the reluctance of courts to imply a prohibition on a contract, the formation or performance of which involves some breach of the law, is the conclusion which will often be derived from the express terms of the legislation itself. Thus, if the legislation provides in a detailed way for sanctions and remedies for breach of its terms, courts will require good reason to add to those express provisions additional civil penalties, such as the deprivation of contractual rights, which Parliament has not chosen to enact. Were it otherwise, the parties would be subject to the penalties (in the present case criminal) expressly provided by the legislation and still more (civil) by the deprivation of their property (contractual) rights (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 429; see also *Byrne v Australian Airlines Ltd* (1995) 185 CLR 410 at 428). In a given case, such lost rights might be enormous, supplementing in a wholly arbitrary way, the defined penalties for which the legislature has expressly provided.

5. A distinction may be drawn between cases where there is nothing illegal in the formation of the contract or necessarily illegal in its performance and those cases where (as here) the performance has in fact involved a breach of the law. The case of a contract which, although lawful according to its own terms, may be performed in a manner which the statute prohibits, was one of the four categories suggested by Gibbs A-CJ in *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* to illustrate the ways in which the enforceability of a contract may be affected by a statutory provision rendering particular conduct unlawful (*Yango Pastoral Co* (1978) 139 CLR 410 at 413). The distinction of illegality in performance was also recognised in the opinions of Mason J (at 426-427) and Jacobs J (at 433) in the same case. It is a distinction well established in legal doctrine (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 288-290). In such a case, it is not the contract as formed which is illegal. But the performance of the contract may be illegal if it is clear that the law in question prescribes that the contract must be performed in

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> one way and one way only and that requirement has been breached. To ascertain whether such a breach has occurred it has been said that the illegality must affect the very core or essence of the [245] contract (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 288). The fact that a statute was passed for the protection of the public is one test of whether it was intended to avoid a contract formed, or to be performed, in breach of its provisions. However, that is not the only test because the effect of the legislation is to be derived from its language in the ordinary way (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 287; *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 414).

The construction point – conclusions

[41.65] Angel J [dissenting judge at the Court of Appeal] was correct to identify a secondary question of public policy, affecting the enforcement by a court of the contract in question here. In this respect, as I shall develop, I agree with his Honour's approach in proceeding to the issue of public policy which the other members of the Supreme Court appear to have viewed as involved, in some way, in the ascertainment of the meaning of the Act. Nevertheless, Angel J erred, with respect, in considering that the issue of public policy arose for determination in deciding whether the Act prohibited the contract as performed. It is important to keep the interpretation and public policy questions separate. Logically, the interpretation question arises first. This is because if, as a matter of interpretation, the contract is illegal as formed, or as performed, it is void as to those parts affected by the illegality. The secondary question of unenforceability for public policy reasons does not then arise. The contract is unenforceable but that is because it is void in law.

The questions therefore to be asked are whether the Act invoked to taint the contract with illegality expressly prohibits the contract as formed or because of the way it was performed? If not, the subordinate question is whether the Act, by necessary inference, prohibits the contract as formed or because of the way it was performed? These are the construction questions. Only if the answers to those questions are in the negative does the further question arise whether, as a matter of public policy, the Court will allow the plaintiff to invoke its process to enforce the contract (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 427-428). Even if, as here, it is accepted that there was nothing illegal in the contract as formed, it remains for a court to consider whether, as performed, the contract is so in breach of a legislative provision as, by implication, to attract the operation of the Act, rendering the contract as performed to that extent unlawful and therefore void. Obviously, the issues posed by this question overlap with those relevant to the resolution of the question whether the contract is unenforceable on public policy grounds. But the two questions are not the same. Part of the confusion which has attended many of the authorities in these cases derives from a failure to make clear the distinction between the two issues.

[246] The appellant contended that the core or essence of the contract in this case was the performance of the drilling of bores for ground water. Here, so it was argued, the essence of the statutory provision was drilling without a permit. That was precisely what had occurred. Accordingly, so it was submitted for the appellant, the contract as performed was illegal, being in breach of s 56(1) of the Act. To that extent the case was distinguishable from the circumstances in *Yango* (1978) 139 CLR 410 where the statutory prohibition had been directed at the carrying on of banking business, not specifically the taking of mortgages or guarantees.

I do not read the Act as having that operation. There is no express provision in it relating to contracts. The Act, in terms, imposes a range of penalties for breaches of its provisions. Specific criminal penalties are imposed for breach of s 56(1). But those penalties, and the scheme of the Act, appear to exhaust the legislative purpose to uphold the requirements of obtaining pre-drilling authority. The necessity to add a sanction depriving parties of their contractual rights otherwise existing by law is not at all clear. This is not a case where it is essential to imply such a consequence into the Act in order to avoid frustration of its operation or the appearance of a court's condonation or assistance to a party in achieving a breach of statute (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 429; *Nelson v Nelson* (1995) 184 CLR 538 at 611). Here, as the facts found show, both

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parties were innocent of any deliberate breach of the Act. The duty to secure the requisite permits lay upon the appellant. The permits obtained conformed to the then (erroneous) understanding of the requirements of the Act. This was that only bore construction permits were required, that they could be issued retrospectively and that they were necessary only for successful bores drilled, not for "duds".

In these circumstances the proper classification of the illegality in question was that it was incidentally committed in the course of the performance of the contract (*Shaw v Groom* [1970] 2 QB 504 at 521-522). It was neither the express purpose of the legislature nor the implied effect of the Act that such an incidental violation as occurred here should deprive the respondent of all remedies under its contract with the appellant. If, as has been decided, there was a breach of s 56(1) by the respondent, it was one sounding in a penalty under that provision, and possibly action upon its drilling licence (eg, ss 50, 51). The additional sanction urged by the appellant ought not to be implied into the Act. The appellant therefore fails on the construction point.

The public policy point – applicable principles

[41.67] [247] This leaves the separate question of whether, as a matter of public policy, a court should refuse a person in the position of the respondent the aid of its process so as to enforce a contract in circumstances where, as performed, illegality has been demonstrated. The rule permitting a court to refuse its assistance to enforce a contract where to do so would be contrary to public policy is an ancient one. It was given expression by Lord Mansfield in *Holman v Johnson* (1775) 1 Cowp 341 at 343 in these terms:

> The principle of public policy is this … No Court will lend its aid to a man who founds his cause of action upon an immoral or an illegal act.

Sometimes the principle is expressed as involving the refusal of a court to enforce a contract where the party seeking such enforcement is obliged to disclose an unlawful consideration in making out the claim (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 291-292). Sometimes it is expressed in the language that courts will not enforce "rights directly resulting to the person asserting them from the crime of that person" (*Cleaver v Mutual Reserve Fund Life Association* [1892] 1 QB 147 at 156; cf *Beresford v Royal Insurance Co* [1938] AC 586 at 596-597; *St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 292-293). But behind the notion is something quite different from the foundation upon which the statutory construction objection rests. There, a court is simply giving effect to the expressed or imputed will of Parliament. When it comes to public policy, the court may inform itself by reference to what Parliament has declared to be illegal. However the fundamental rationale for withholding relief is one essentially of the court's self-regard. It will not (unless required to) lend its authority and assistance to a party seeking to invoke its process in connection with illegal or otherwise seriously reprehensible conduct. This was the "question" which remained in *Yango*, after the statutory construction point in that case was disposed of favourably to the enforcement of the contract (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 427; cf *Scott v Brown, Doering McNab & Co* [1892] 2 QB 724 at 728, cited by Windeyer J in *Smith v Jenkins* (1970) 119 CLR 397 at 412). Mason J explained the question thus *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 427, 429-430):

> The question therefore remains whether the court will allow the plaintiff to enforce the contract. The suggestion is that the court will not do so and that its refusal so to do is dictated by the principle ex turpi causa non oritur actio or by the more specific rule that the [248] court will not enforce the contract at the suit of a party who has entered into a contract with the object of committing an illegal act.
>
> …
>
> In saying this I am mindful that there could be a case where the facts disclose that the plaintiff stands to gain by enforcement of rights gained through an illegal activity far more than the prescribed penalty. This circumstance might provide a sufficient foundation for attributing a different intention to the legislature. It may be that the true basis of the principle

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> is that the court will refuse to enforce a transaction with a fraudulent or immoral purpose (*Beresford v Royal Insurance Co Ltd* [1937] 2 KB 197 at 220). On this basis the common law principle of ex turpi causa can be given an operation consistent with, though subordinate to, the statutory intention, denying relief in those cases where a plaintiff may otherwise evade the real consequences of a breach of a statutory prohibition.

Even more explicitly, Jacobs J (at 443), drawing upon earlier authority (*Archbolds (Freightage) Ltd v S Spanglell Ltd* [1961] 1 QB 374) asked:

> [W]hether, if the contract was neither expressly or impliedly forbidden, nevertheless on grounds of public policy the courts would not enforce it if it could only be performed in contravention of a statute or was intended to be performed illegally or for an illegal purpose.

Now, it was said long ago, and has been repeated often since, that public policy "is a very unruly horse" (*Richardson v Mellish* (1824) 2 Bing 229 at 252). Whereas it affords a measure of discretion to the courts to lend, or deny, their authority according to notions of the propriety, or otherwise, of enforcing a contract said to be affected by illegality or reprehensibility, the principle is scarcely conducive to certainty and consistency. Clearly, these are desirable objectives so far as the law of contract is concerned. Although some older authority suggests the classification of cases of public policy in closed categories to which courts will always deny relief, more recent decisions support a principle of greater flexibility. Thus, it has been said that public policy is not to be viewed as a "blunt, inflexible instrument" (*Saunders v Edwards* [1987] I WLR 1116 , 1132; discussed Starke, Seddon and Ellinghaus, *Cheshire and Fifoot's Law of Contract*, 6th Aust ed (1992), p 456, fn 78; Stowe, "The 'Unruly Horse' has Bolted: Tinsley v Milligan" (1994) 57 *Modern Law Review* 441, 443). Nor is the concept static (*Gray v Barr* [1971] 2 QB 554 at 582; discussed Stowe, "The 'Unruly Horse' has Bolted: Tinsley v Milligan" (1994) 57 *Modern Law Review* 441, 444). The decision of this Court in *Yango* rejects the proposition [249] that any prohibited conduct, involved directly or indirectly in the performance of a contract sued upon, denies to the parties the facility of the process of the courts (See Enonchong, "Title Claims and Illegal Transactions" (1995) 111 *Law Quarterly Review* 135). Whatever may be the position in England following the decision of the House of Lords in *Tinsley v Milligan*, in Australia it must be accepted, from decisions of this Court (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410; *Nelson v Nelson* (1995) 184 CLR 538), that the rule against enforcement is not inflexible.

Clearly it should not be so. It would be absurd if a trivial breach of a statutory provision constituting illegality, connected in some way with a contract or contracting parties, could be held to justify the total withdrawal of the facilities of the courts (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 280-281, 288-289, per Devlin J: "It may be questionable … whether public policy is well served by driving from the seat of judgment everyone who has been guilty of a minor transgression"). It would be doubly absurd if the courts closed their doors to a party seeking to enforce its contractual rights without having regard to the degree of that party's transgression, the deliberateness or otherwise of its breach of the law and its state of mind generally relevant to the illegality. Similarly, it would be absurd if a court were permitted, or required, to consider the refusal of relief without careful regard to the relationship between the prohibited conduct and the impugned contract. Thus, different considerations may exist where the contractual rights being enforced arise directly from the illegality, as distinct from those which arise only incidentally or peripherally (*St John Shipping Corporation v Joseph Rank Ltd* [1957] 1 QB 267 at 284, 289-290, 292-293). It is one thing for courts to respond with understandable disfavour and reluctance to attempts to involve them and their processes in an inappropriate and unseemly way effectively in the advancement of illegality and wrong-doing. It is another to invoke a broad rule of so-called "public policy" which slams the doors of the court in the face of a person whose illegality may be minor, technical, innocent, lacking in seriousness and wholly incidental or peripheral to a contract which that person is seeking to enforce.

Considerations such as these led McHugh J in *Nelson v Nelson* (1995) 184 CLR 538 to explore the ways in which a broad judicial discretion to withhold relief, the grant of which would affront

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"the public conscience", could be given greater certainty of content. His Honour suggested that such a sanction would have to be proportionate to the seriousness of the illegality involved and not disproportionate to the seriousness of the breach (at 612-613). It would have to further the purpose of [250] the statute and not impose a sanction for unlawful conduct beyond that which Parliament has expressly condoned (at 613). McHugh J proposed the following general propositions (at 613):

> [C]ourts should not refuse to enforce legal or equitable rights simply because they arose out of or were associated with an unlawful purpose unless: (a) the statute discloses an intention that those rights should be unenforceable in all circumstances; or (b)(i) the sanction of refusing to enforce those rights is not disproportionate to the seriousness of the unlawful conduct; (ii) the imposition of the sanction is necessary, having regard to the terms of the statute, to protect its objects or policies; and (iii) the statute does not disclose an intention that the sanctions and remedies contained in the statute are to be the only legal consequences of a breach of the statute or the frustration of its policies.

Although these remarks may have been obiter, they resonate with similar suggestions in the opinion of Toohey J (at 596-597) who recognised that (at 597):

> Although the public policy in discouraging unlawful acts and refusing them judicial approval is important, it is not the only relevant policy consideration. There is also the consideration of preventing injustice and the enrichment of one party at the expense of the other.

The public policy point – conclusions

[41.68] For the appellant, the application of public policy to the circumstances of this case was as simple as determining the implications of the true construction of the Act. Indeed, one was but the mirror image of the other. The Act established a regime for prior authorisation for the drilling of bores for ground water. It did so for a vital purpose protective of the public interest. In doing so it made illegal the drilling of bores without a prior requisite permit. Unless the courts were effectively to ignore the prohibition on unauthorised drilling (or to confine the sanction solely to the criminal one expressly provided) the public policy was sufficiently declared in the Act. The only way to uphold it effectively was to deny recovery under a contract to a person in the position of the respondent. This could be done conscientiously because the respondent was deemed to know the law. As a licensed driller it had more reason to do so than most. The purpose of Parliament was important, and recognised as such. Upholding it, with this added sanction, would further the attainment of [251] that purpose. It would more effectively sanction the circumvention of the Act than the remote prospect of an occasional criminal prosecution. That was most unlikely in this case because of the mistaken understanding of the Act by the relevant public authority upon which the parties had relied. Even if, on its proper construction, the Act did not render illegal the contract as performed, the appellant urged that the Court retained a residual power to withhold enforcement. It should do so in this case because to afford enforcement would involve courts in the upholding of rights which rested upon a clear breach of the Act.

I trust that putting the matter in this way, I have demonstrated that the arguments of the appellant are not without some force. It is necessary to appreciate fully the importance of the objects of the Act to realise the strength of the appellant's argument that the courts should not, either directly or indirectly, condone conduct performed in breach of the Act's provisions lest by doing so they become involved in, and tainted by, the illegality.

For a number of reasons I have concluded that this is not a case where it would be appropriate to treat the contract between the parties as unenforceable on public policy grounds.

If the criteria mentioned by McHugh J in *Nelson* (1995) 184 CLR 538 are applied, it has already been held that the Act did not disclose an intention that the respondent's rights should be unenforceable in all circumstances. To refuse to enforce those rights would be disproportionate to the seriousness of the unlawful conduct in question. This is, in part, because the duty to obtain the necessary permit rested on

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the appellant. According to the then administration of the Act, both the appellant and the respondent (and the authorities) thought they had done all that was required. It would be disproportionate to the respondent's unlawful conduct to deprive it almost entirely of recovery under the contract, although there was nothing illegal in the contract itself and the performance by the respondent would have been lawful if the appellant had secured the requisite permits. Against the background of the mistaken understanding about the meaning and operation of the Act, the imposition of such a sanction is not necessary to protect the objects or policies of the Act. Other sanctions exist to uphold those ends. The Act being silent on contracts, it is a preferable construction of its terms that, at least in circumstances such as the present, the parties should be able to enforce their legal rights in courts of law and should not be deprived of those rights under the rubric of unenforceability for public policy reasons any more than on the basis of the application to the contract of the suggested construction of the Act.

The position would be quite different if what had been involved had been a specific agreement between the parties deliberately to breach the Act (eg by the use of unlicensed and neglectful drillers or the [252] deliberate refusal to obtain any permit) or to perform the contract in a way clearly damaging to the scarce resource of ground water in the Territory. In such a case, even if the Act did not expressly or impliedly render the contract illegal and void, whether as formed or performed, there would be a strong argument to support the proposition that, on public policy grounds, the Court might refuse relief. To grant relief, in such circumstances, could affront the "public conscience" (*Tinsley v Milligan* [1992] 1 Ch 310 at 319-320, per Nicholls LJ; cf *Nelson v Nelson* (1995) 184 CLR 538 at 596, per Toohey J; at 612, per McHugh J). In such a case, to involve a court in the enforcement of the rights of the parties could be to involve it in upholding a seriously anti-social act which was illegal or at least gravely reprehensible.

But that is not this case. On the contrary, were the Court to withhold relief to the respondent, it would result in a windfall gain to the appellant which was unmerited and itself would be an affront to the public conscience. The appellant, a property developer, would have gained three successful water bores for a pittance. The respondent would have been denied recovery precisely on the basis of the failure of the appellant (whose duty it was) to obtain in advance the requisite permits. I do not accept that the rule of public policy, invoked by the appellant, is as inflexible and harsh as to produce such an offensive result (*Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 428). The appellant therefore fails on the public policy point …

[DAWSON and TOOHEY JJ delivered a joint judgment in favour of dismissing the appeal.]

Appeal dismissed.

CONTRACTS IN RESTRAINT OF TRADE

[41.70] The common law has always taken a stern attitude towards contracts which impose restrictions on a person's freedom to work or to carry on trade or business in such place and in such manner as he or she sees fit. Up until the beginning of the 17th century, all such restrictions were treated as being void. It was one of the earliest applications of the doctrine of public policy to curb contractual freedom. The attitude of the common law was not primarily based on any notion of fairness. It was based rather on the desirability of encouraging the growth of commerce and thus the strength and wealth of the nation. Privately arranged restraints on economic freedom were regarded as contrary to the public interest.

The present law is fairly easy to state at a general level of abstraction. All covenants in restraint are prima facie void and unenforceable by legal action. They may, however, be held to be valid by a decision of a court that in all the circumstances the particular covenant is

reasonable both in the interests of the parties and in the interests of the public or of the community in general.

The burden of establishing that the restraint of trade clause is reasonable as between the parties is on the promisee (the *covenantee*), that is, the party who receives the benefit of the restraint. If the promisee's burden is discharged, the burden of establishing that the clause is contrary to the public interest is on the promisor (or *covenantor*), that is, the party who agreed to be restrained.

In determining this question of reasonableness, the courts have found it useful to distinguish between certain generally recurrent types of covenants in restraint of trade. The types of restrictions which are dealt with in this chapter are those that operate between employer and employee (*Lindner v Murdock's Garage* (1950) 83 CLR 628, extracted at [41.75]), and vendor and purchaser of a business (*Nordenfelt v Maxim Nordenfelt Guns & Ammunition Co Ltd* [1894] AC 535, extracted at [41.95]). These are commonly encountered contracts where restraints of one kind or another are imposed and in each case the courts have to decide whether the restriction is reasonable in that it does not impose undue constraints in relation to area, time or subject matter. But there are other categories. As Buckley J said in *Petrofina (Gt Britain) Ltd v Martin* [1966] Ch 146, 169: "The categories of restraint of trade are not closed. As methods of trading change, so do the areas of restraint. The law, if it is to fulfil its purposes, must keep pace with them."

Employment contracts

Lindner v Murdock's Garage

[41.75] *Lindner v Murdock's Garage* (1950) 83 CLR 628 (High Court of Australia) – Appeal from the Supreme Court of South Australia.

[FACTS: On 10 August 1946, Lindner (the *appellant*) and Murdock's Garage (the *respondents*) entered into a written agreement for the employment of the appellant by the respondents. The respondents were carrying on business at Crystal Brook and Wirrabara, two towns in South Australia about 30 miles apart. The agreement described the appellant as a workman and the respondents as motor and general engineers. It did not state in what capacity or at which place the appellant was to be employed. In a schedule, it provided that: "this agreement shall apply to the sales territory for motor cars, trucks and tractors etc of Murdock's Garage; Crystal Brook and Wirrabara."

The territory consisted of two defined areas, one surrounding Crystal Brook and the other surrounding Wirrabara. The two areas were quite separate, their nearest points being not less than ten miles apart. The employment was not for a fixed period but was made determinable by either party on giving 21 days' notice or paying or forfeiting 21 days' wages in lieu of notice. The appellant was employed as a leading hand in the workshop at Crystal Brook from August 1946 until 4th February 1950, when he left the respondents' employ. A few weeks later, he obtained employment at another firm carrying on a business similar to that of the respondents and situated at Crystal Brook some two or three hundred yards from the premises of the respondents. During his employment with the respondents, the appellant had been employed only at Crystal Brook, never at Wirrabara. He had come into contact with a large number of his employers' clients.

The agreement contained a provision which was in the following terms:

> The workman will not during his employment or within one year from the termination thereof in any way carry on or be engaged concerned or interested either personally or as a partner or as a servant or employee of any other person or company in the business of garage proprietors, motor and general engineers, agents for the distribution of or dealers

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> in motor accessories or in any other similar business now and hereafter carried on by the employers within the same area.

The respondents brought an action against the appellant in which they claimed an injunction to prevent the appellant from engaging as principal or employee in any business similar to their business at or within five miles of Crystal Brook. The trial judge, Napier J, upheld the validity of the contract and made an order restraining the appellant for a period of one year from being employed by any person in any business similar to that of the respondents within five miles from the latter's premises in Crystal Brook. The appellant appealed to the High Court.]

KITTO J: [653] The question for decision on this appeal is whether the restrictive provision … should be held invalid as being in unlawful restraint of trade. Any contractual restraint of trade is prima facie unlawful and invalid:

> It is not that such restraints must of themselves necessarily operate to the public injury, but that it is against the policy of the common law to enforce them except in cases where there are special circumstances to justify them. The onus of proving such special circumstances must, of course, rest on the party alleging them. When once they are proved, it is a question of law for the decision of the judge whether they do or do not justify the restraint. There is no question of onus one way or another: *Herbert Morris Ltd v Saxelby* [1916] 1 AC 688 at 706, 707 per Lord Parker of Waddington; *Routh v Jones* [1947] 1 All ER 758 at 763 per Lord Greene MR.

The validity of the restraint must be decided as at the date of the agreement imposing it:

> The question is not whether experience gained during the service has shown the restriction to have been excessive or insufficient. The question is whether the covenant was a reasonable one for the parties to agree to at the outset of the service on the best estimate which they could then make of the future: *Putsman v Taylor* [1927] 1 KB 637 at 643.

The work for which in fact the appellant was employed was variously described in the evidence as that of a mechanic, a mechanic in charge, a working foreman or a working head mechanic. His work might naturally be expected to bring him constantly into close touch with the respondents' customers who came to the place where he would be working from time to time, but it could not be expected to give him any association with or knowledge of the customers who attended only a place of business where he was not working.

In these circumstances it is necessary to consider what it was for which, and what it was against which, the respondents needed [654] protection: *Herbert Morris v Saxelby* at 708. The answer is that they needed protection for their business connection against the possibility of its being affected by the personal knowledge of and influence over the customers which the appellant might acquire in their employment: at 709. (I put on one side the preservation of trade secrets because on the evidence I do not think that there were any trade secrets that required protection.) To adapt the words of Lord Birkenhead in *Fitch v Dewes* [1921] 2 AC 158 at 164, the respondents might claim for their protection that that business which was theirs, and to which they were admitting the appellant in the manner defined in the agreement, should continue to be theirs, and that if at any time the contract of employment between themselves and the appellant should come to an end, on such determination the latter should not be in a position to use "the intimacies and the knowledge" which he had acquired in the course of his employment in order to create or assist a competing business in the same area and by doing so undermine the business connection of the respondents. The knowledge referred to does not include the technical knowledge and skill which the appellant might acquire in the employment (*Sir WC Leng & Co Ltd v Andrews* [1909] 1 Ch 763 at 773; *Mason v Provident Clothing & Supply Co* [1913] AC 724 at 740; *Herbert Morris Ltd v Saxelby* [1916] 1 AC 688 at 705, 710, 711) for an employer cannot validly preclude his employee from competition per se, that is competition apart from the divulging or use of trade secrets and enticing away of old customers by solicitation or such

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other means: per Lord Atkinson in *Herbert Morris Ltd v Saxelby*. The knowledge which, because its use may deprive the employer of the business connection which he is entitled to preserve as his own, he may require his employee to abstain from using, is objective knowledge of customers, their peculiarities, their credit and so forth: [1916] 1 AC 688 at 714; compare *Routh v Jones*. Against the prejudice likely to result from such "intimacies and knowledge" the respondents were entitled to protect their business by means of a contractual restraint of a width reasonable in reference to the interests of both parties: *Attorney-General of the Commonwealth of Australia v Adelaide Steamship Co Ltd* [1913] AC 781 at 795; *Herbert Morris Ltd v Saxelby* at 716. But to be valid, such a restraint "must afford *no more than* adequate protection to the party in whose favour it is imposed": *Herbert Morris Ltd v Saxelby* at 707; *Mason v Provident Clothing and Supply Co* at 733, 742.

[655] The provisions of the restrictive agreement which the respondents seek to enforce are not directed against the solicitation by the appellant of their customers with whom the appellant dealt while in their employment; other provisions of the agreement cover that and no breach of them is alleged to have been committed or to be feared. The provisions now in question are directed against what Lord Atkinson called enticing away old customers by "such other means", an expression which may, I think, be explained in the language of the Full Court of Victoria in *Woodmason's Melrose Dairy Pty Ltd v Kimpton* [1924] VLR 475 at 480, 481:

> There are many methods of enticing away customers beside the method of direct solicitation impossible of detection, and only known by results. But, apart altogether from any conscious exercise by the former employee of such knowledge and influence as he may have acquired in his former employment, the employer is entitled to protect himself against loss which may otherwise arise from the mere existence of a personal relation between his customers and his former servant. That relation, when resulting from the employment, is an advantage accruing to the employer and properly exercisable for his benefit so long as the service continues. The same relation would become a source of injury to the employer if the former servant were permitted to accept the custom which might voluntarily flow to him upon his opening an opposition business in the old locality. This danger is quite reasonably met, in our opinion, by a provision against serving the old customers for a limited period. The same reasoning is, we think, fully recognised by the common acceptation of a covenant against carrying on a rival business at all in a given locality. Such a covenant has been repeatedly held to be reasonable, though it obviously has nothing to do with solicitation.

But in order that a restraint may be made reasonable in reference to the interests of the parties by means of a geographical limitation, the limitation must, I think, be such as will fairly approximate to a limitation expressed by reference to the employer's customers of whom the employee is likely to acquire special knowledge or with whom the employee is likely to be brought into a personal relation while in the employment: compare *Coote v Sproule* (1929) 29 SR (NSW) 578 at 580; 46 WN 180 at 181; *Empire Meat Co Ltd v Patrick* [1939] 2 All ER 85. In *Brightman v Lamson Paragon Ltd* (1913) 18 CLR 331 at 335 Rich J said: "No restraint is excessive unless the area exceeds that fairly covered by the business of the covenantee at the date of the agreement or which might at that date reasonably be expected [656] to be covered by such business on the expiration of the agreement." No doubt this proposition is accurate as applied to cases such as that with which his Honour was dealing, where the employment is to be co-extensive with the area of the employer's business, and the employee may be expected to form personal relationships with customers in all parts of that area; but it should not, I think, be accepted as accurate in relation to cases where the employer carries on business in several areas, and the employment may be confined to one or some only of the areas and is of such a character that the employee while working in one area is unlikely to be brought into any significant degree of contact with customers in the others. In such a case a restraint upon the employee's becoming connected with a rival business after he leaves the employment will give the employer's business reasonable protection against the effects of the intimacies and knowledge to which Lord Birkenhead referred, if it is limited to the area or areas in which the employee in fact works within a reasonable time before the termination of his employment; and a restraint which

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applies indiscriminately to all the areas in which the employer carries on business will exceed what is reasonably necessary to prevent the injury to his business against which he is justified in guarding.

The criticism to which I think, with all respect, that Rich J's proposition is open is that while it recognises the limits of the subject of legitimate protection, it fails to take into account the limits of the danger against which protection is needed. In *Mason's* case [1913] AC 731 at 732, Viscount Haldane said:

> Had (the employers) been content with asking (the employee, a canvasser) to bind himself not to canvass within the area where he had actually assisted in building up the good will of their business, or in an area restricted to places where the knowledge which he had acquired in his employment could obviously have been used to their prejudice, they might have secured a right to restrain him within these limits. Lord Shaw of Dunfermline said in the same case (at 741): "A very reasonable restriction of a canvasser in such circumstances as are here disclosed might no doubt have been that he should not canvass his old customers or in the limited locality of his former labour."

Lord Moulton said (at 743):

> A small district in London was assigned to him, which he canvassed and in which he collected the payment due, and outside that small district he had no duties. His employment was therefore, that of a local canvasser and debt collector, and nothing more. Such being the nature of the employ-[657]ment, it would be reasonable for the employer to protect himself against the danger of his former servant canvassing or collecting for a rival firm in the district in which he had been employed. If he were permitted to do so before the expiry of a reasonably long interval he would be in a position to give to his new employer all the advantages of that personal knowledge of the inhabitants of the locality, and more especially of his former customers, which he had acquired in the service of the respondents and at their expense. Against such a contingency the master might reasonably protect himself, but I can see no further or other protection which he could reasonably demand.

Mason's case (at 724) had not been long decided at the time of *Brightman's* case (1913) 18 CLR 331, and the difference between a vendor and purchaser case and a master and servant case in relation to restraint of trade had yet to receive the emphasis which *Herbert Morris Ltd v Saxelby* [1916] 1 AC 688, was to give it. Since the latter decision it is not possible, I think, to uphold a restraint upon an employee in respect of engaging in a rival business if the restraint extends beyond the area to which the customers belong with whom the employee is likely to be brought into touch during the employment. In that case the employers had a business ramified over the United Kingdom, but a restraint of similar geographical extent was held invalid. Lord Parker of Waddington said:

> Had the restraint been confined to (the two places where the employee in fact worked) and a reasonable area round each of these centres, it might possibly have been supported as reasonably necessary to protect the plaintiff's connection, but a restraint extending over the United Kingdom was obviously too wide in this respect: [1916] 1 AC 711.

The case of *Stephens v Kuhnelle* (1926) 26 SR (NSW) 327 at 328; 43 WN 67 at 67, may be referred to in this connection. That case had to do with a covenant restraining a breadcarter from serving any person within a defined area who was during the employment a customer of the employer. After referring to certain decisions of the Court of Appeal given before the law on the subject had been laid down by the House of Lords in *Mason v Provident Clothing & Supply Co* (at 724), and *Herbert Morris Ltd v Saxelby* (at 688), Harvey CJ in Equity said:

> The question, however, which I have to decide now, in view of the later decisions, is whether this agreement is more widely couched than is necessary for the protection of the employer against the knowledge which was acquired by the employee of his customers and of his master's trade while [658] employed by him. In my opinion, the agreement breaks down at

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> the point where it restrains the employee from serving or causing to be served with bread or interfering with any customers of his employer who were customers during his employment. It may be that in some businesses and trades such an agreement would be proper where the knowledge of the employee did involve a knowledge of all his master's customers, or where he might possibly have had personal relations with all customers, such as in the case of some retail businesses; but in this case the evidence states, and it is uncontradicted, that each breadcarter knows only the customers on his own run, and has no knowledge of the other customers and no dealings with them. There therefore can be no necessity to protect the employer against the employee soliciting or dealing with customers whom such employee is not serving.

In the present case the evidence did not establish that the appellant, if working at Crystal Brook or at Wirrabara, would not be brought into touch with customers from the area surrounding the other of those towns; but the onus lay upon the respondents to prove facts in the light of which it was reasonable for the parties, when framing the restrictive clause of the agreement, to expect that the appellant, if working in one area, would be likely to come into contact with customers of the respondents' business in the other area, and no such evidence was given. The probabilities, I should have thought, were all against such an expectation; in the ordinary course of events, persons whose vehicles require mechanical attention would be likely to take them to the nearer of the two towns. It is true that in evidence one of the respondents said, when describing what in fact occurred, that to a certain degree the appellant, who worked only at Crystal Brook, would know of the customers at Wirrabara, adding that at times they would come to Crystal Brook; but there was no evidence that this occurred to any substantial extent, or that it could be expected at the date of the agreement to occur to any substantial extent.

It is said that the restrictive clause should be regarded as combining two severable restrictions, one in respect of the Crystal Brook area and the other in respect of the Wirrabara area. But even if the clause had been confined to one of those areas, its validity would have had to be decided in the light of the fact that at the date of the agreement it was not known whether the appellant would be working in that area during such a period preceding the termination of his employment that his knowledge of any relation with customers in that area might, in the absence of a restraint, cause injury to the respondents' business. The service agreement [659] did not specify where the appellant was to be employed. It was quite consistent with the agreement that he might be employed at Wirrabara, for instance, either during the whole term of his employment or during so long a period before its termination that any acquaintance he may have had with customers of the Crystal Brook business would be too remote in time to warrant any restriction in relation to the Crystal Brook area. In my opinion, therefore, severance of the restrictive clause of the agreement does not save it. In order to be valid it should, I think, have been so limited in respect of each area as not to operate therein unless the appellant should be employed by the respondents in their business in that area within some specified reasonable period preceding the termination of his service. Not being so limited, the clause, even if free from objection in any other respect, appears to me to exceed what was reasonably required in order to obviate the danger from which the respondents were entitled to obtain protection. Accordingly, I am of opinion that the restrictive clause should be held invalid as being in unlawful restraint of trade. I would allow the appeal, discharge the order of the Supreme Court and dismiss the action.

[41.80] McTIERNAN J: [641] At the time this agreement was made it was notorious that there was a shortage of workmen with mechanical skill and knowledge and there was a shortage of homes for workmen. The defendant and his wife and children lived at Crystal Brook. They moved there shortly after he entered into the plaintiff firm's service. He entered into its employment in consequence of replying to an advertisement issued by the plaintiff firm. The defendant then lived in another locality. It must have been obvious at the time the plaintiff firm exacted the covenants from him that it would be necessary for him to move from there to Crystal Brook in order to work for the plaintiff.

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By reason of the notorious labour shortage and the economic situation it was detrimental to the interests of the public to restrain the defendant from working at his trade for a period of 12 months after the termination of the employment. The defendant was not employed for a fixed term. In view of the shortage of homes, it was not reasonable in reference to the defendant's interests to impose upon him a restraint which, whenever the employment was terminated, would force him to move his home beyond the geographic area of the restraint in order to earn his livelihood at his accustomed trade ….

In *Attwood v Lamont* [1920] 3 KB 571 at 581, Younger LJ said that the branch of the law with which the court was dealing has at all times been susceptible to influence from current views of public policy. There has been no development of public policy in Australia since that case which would incline the court to regard with less jealousy covenants made by a workman in restraint of his freedom to work at his trade or to engage in employment.

[Webb J delivered a judgment to the same effect as that of Kitto J. Latham CJ and Fullagar J dissented.]

Appeal allowed.

Pearson v HRX Holdings

[41.85] *Pearson v HRX Holdings Pty Ltd* [2012] FCAFC 111; (2012) 205 FCR 187 (Full Court of the Federal Court).

[FACTS: HRX Holdings brought proceedings seeking an injunction restraining Pearson, a former employee, from him taking up employment with a competitor. HRX Holdings' claim was based on a restraint clause in Pearson's employment contract which purported to restrain Pearson from working in a business similar to or competitive with HRX Holdings or its subsidiaries for a period of two years after the termination of his employment with HRX Holdings. The trial judge found that the restraint was reasonable and granted an injunction. On appeal, Pearson argued that the restraint was not reasonably necessary to protect any legitimate interest of HRX Holdings. Pearson argued that the restraint was too broad as it prevented him from competing with HRX Holdings anywhere in the world for customers who may never have had any contact or dealings with HRX Holdings. Pearson also argued that the protection offered to HRX Holdings by separate non-solicitation and confidentiality clauses contained in the employment contract meant that it could not be said that the restraint was reasonably necessary.]
THE COURT:

Factual background

[10] HRX was founded in January 2005 by Katrina Leslie. The trustee of Ms Leslie's family trust, Cazo Pty Ltd (Cazo), is the major shareholder in HRX. Ms Leslie is the non-executive chair of HRX. Mr Pearson was first employed by HRX in February 2005. Both Ms Leslie and Mr Pearson were active in the establishment and direction of HRX in the human resources business.

[11] Mr Pearson first became involved in human resources in Australia in 1995, working for the firm known as Morgan & Banks. Thereafter, for a good deal of his time in the human resources industry, Mr Pearson worked for businesses associated with Mr Morgan and Mr Banks of that firm. At the present time, Mr Banks is the Chairman and Mr Morgan is a non-executive director of Talent2, a company which was established in 2003. Talent2 competes in Australia directly with HRX both generally and for particular clients and contracts. Mr Morgan and Mr Banks also have controlling interests in businesses in the United States of America. It was Mr Pearson's proposal to take up employment at a senior level with Talent2 that prompted HRX to commence proceedings against Mr Pearson.

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[12] The nature and extent of HRX' business are important. HRX offers recruitment process outsourcing and consulting services, human resources outsourcing and recruitment technology to government and private enterprise. It develops techniques, technological systems, facilities and strategies for its clients. Mr Pearson has been an innovator in this area. He was HRX' primary presenter to prospective clients in its endeavour to secure business. The primary judge said at Reasons [6]:

> … He had an intimate knowledge of client relationships, of the techniques and resources used by HRX to sell its services to clients, of the methods by which HRX serviced the contracts which it obtained, and of the strategies with which HRX might attempt to retain a client whose contract was about to expire (generally two to three years after inception).

[13] Mr Pearson accepted that he has been a key component of HRX' success in entering and growing in the small and competitive market in Australia. During Mr Pearson's time at HRX its policy was to follow clients into business opportunities outside Australia and New Zealand. Although HRX had tendered for work in other areas, at the time of Mr Pearson's resignation, its only clients were in Australia and New Zealand.

[14] During Mr Pearson's employment with HRX, he had access to all, or virtually all, of HRX' confidential business information, including the techniques and facilities used by HRX to sell its services and its client retention strategies …

[17] Negotiations towards the execution of Mr Pearson's service agreement began in early August 2005 with a document proffered by Mr Pearson. That document proposed a post-employment restraint upon his carrying on, or having any interest in, a "Restrained Business" for a period of six months. Ms Leslie did not agree with the duration of that restraint. Ms Leslie gave evidence that the need for post-employment restraint upon Mr Pearson involved "one of the biggest risks to the business …". Negotiations ensued over a period of some months.

[18] The terms of the service agreement as finally executed restrain Mr Pearson from accepting employment with, or engaging in a business "similar to or competitive with", HRX for two years after the termination of employment. Importantly, it also provides for his salary to be paid to him by HRX during all but three months of the restraint period. Further, it provides for Mr Pearson to be allocated an eight per cent shareholding in HRX. Mr Pearson acknowledged in cross-examination that he understood that, if he had not agreed to the restraint, he would not have been allocated these shares.

[19] Clause 9 of the service agreement contains obligations concerning confidential information which are expressed to survive the termination of employment. Read with the definition of "Confidential Information", those obligations require Mr Pearson not to disclose information including policies, procedures, contracts, agreements, affairs, ideas, business plans and developments relating to existing or future business opportunities or business practices as well as all other matters relating to the internal or external operations or plans of companies in the HRX group.

[20] The service agreement also contains cl 14.3, a non-solicitation clause, the terms of which we will set out directly below.

[21] Mr Pearson decided to leave HRX on 12 August 2011 as a result – so he told HRX' customers – of his dissatisfaction with management practices. In fact, a week before Mr Pearson resigned from HRX, Talent2 had offered him the position of General Manager – Global Head of Business Development for its Recruitment Management Services which he had accepted.

[22] Mr Pearson gave two months' written notice of his resignation from the employment of HRX on 29 September 2011. Mr Pearson proposed, unless restrained, to work as one of Talent2's senior executives in direct competition to HRX in Australia. It was proposed that Mr Pearson would continue to live in Sydney while working as one of Talent2's most senior executives. He would report and be responsible to the executive of Talent2 who, though based in Hong Kong, directs business in competition with HRX. Thus Mr Pearson would supervise and lead Talent2's employees who compete with HRX in Australia.

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The service agreement

[23] Clause 14 of the service agreement contains cl 14.4 which is the restraint the subject of this appeal. It is necessary to set out in full the terms of cl 14:

14.1 Acknowledgment

The Executive acknowledges to the Company that he:

(a) has an intimate interest in the contacts, clients, knowledge and management of the Company's business;

(b) has obtained specific employment legal advice in relation to this agreement, including without limitation the restraints contained in this clause 14;

(c) has and will receive consideration for his obligations under this clause, including the HRX Shares which will be granted to the Executive without cost to him;

(d) would detrimentally affect the Company's legitimate interests by breaching his obligations under this clause; and

(e) pursuant to paragraph (a) believes the restraints contained in this clause 14 are reasonable, in context of the Employment, the industry and the period and geographic nature of the restraints, to protect the goodwill of the Company's business.

14.2 Certain conduct prohibited during the Employment

The Executive must not during the Employment, do any of the following things without first getting the consent of the Board:

(a) **business activities**: directly or indirectly carry on a Restrained Business, alone or in partnership or joint venture, with anyone else;

(b) **no interest**: subject to clause 14.6, directly or indirectly be concerned with or interested in a Restrained Business in any capacity, including as principal, agent, partner, joint venturer, shareholder, unit holder, employee, director, trustee, beneficiary, manager, consultant, adviser or financier; or

(c) **payment**: accept any payment or other benefit in money or in kind from any person as an inducement or reward for any act or forbearance or in connection with any matter or business transacted by or on behalf of the Company.

14.3 Non-solicitation

The Executive must not and must not counsel, procure or otherwise assist any person or entity to do any of the following during the Restraint Period:

(a) **customers**: solicit or persuade a Customer to stop or reduce its business with the Company or its Related Bodies Corporate;

(b) **employment**: induce or attempt to induce an employee or contractor of the Company to terminate his or her employment or consulting relationship with the Company;

(c) **suppliers**: solicit or persuade a supplier to stop or reduce its business with the Company or its Related Bodies Corporate.

14.4 Restraint Period obligations

(a) The Executive must not and must not counsel, procure or otherwise assist any person or entity to do any of the following things during the Restraint Period:

  (i) **no competition**: directly or indirectly carry on a Restrained Business, alone or in partnership or joint venture with anyone else;

  (ii) **no interest**: subject to clause 14.6, directly or indirectly be concerned with or interested in a Restrained Business in any capacity including as principal, agent,

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partner, joint venturer, shareholder, unit holder, employee, director, trustee, beneficiary, manager, consultant, adviser or financier.

(b) In further consideration of the Restraint Period under this sub-clause, the Company will pay the Executive the average monthly Remuneration Package which he received during the two years before the Termination Date or during the Employment if employed for less than 2 years, for each month of the Restraint Period, except the first 3 months of the Restraint which will be unpaid, provided that:

(i) If Pearson leaves voluntarily within 2 years any amounts payable or paid by the Company in respect of the Restraint Period are reduced by any alternative remuneration or income received or receivable by the Executive, including proceeds from any sale of the HRX Shares;

(ii) If Pearson does not voluntarily leave within 2 years then any amounts payable by the Company in respect of the Restraint Period are reduced by any alternative remuneration or income received or receivable by the Executive, including proceeds from any sale of the HRX Shares on the following schedule:

- If proceeds from any sale of HRX shares is less than $500,000 then there is no reduction for the sale of HRX shares
- If the sale of HRX shares is more than $500,000 but less than $1,000,000 then the amount owing under the Restraint will be reduced by 50 per cent
- If the sale of HRX shares is $1,000,000 or more, then clause (i) applies (ie amounts payable are reduced by any alternative remuneration or income received or receivable by the Executive, including proceeds from any sale of the HRX Shares.

(iii) the Executive must immediately refund to the Company any payments made which exceed what the Executive is otherwise entitled to be paid under this sub-clause, whether or not a demand has been made by the Company to do so;

(iv) the Executive must use his best endeavours to obtain alternative employment commensurate with his skills and experience;

(v) the Executive must provide the Company with any information it requests or answer any questions arising from or in connection with his employment, remuneration and income following the Termination Date;

(vi) the Executive must immediately inform the Company if he accepts an offer of employment and provide the Company with particulars of his remuneration in respect of that employment; and

(vii) the Executive is not entitled to any payment in respect of the Restraint Period if the Company waives the Executive's obligations under this clause 14.4. within 14 days post termination.

14.5 Separate undertakings

If any part of an undertaking in clause 14.2 is unenforceable, it may be severed without affecting the enforceability of the rest of that undertaking or the other undertakings.

14.6 Listed securities

Nothing in this clause 14 prevents the Executive or the Executive's nominee holding 5 per cent or less of the issued shares or units of a body corporate or a unit trust listed on a stock exchange.

14.7 Survival

The Executive's obligations under this clause survive the termination of the Employment.

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[24] The constraints in clause 14.4 are expressed by reference to the defined term, "Restrained Business" in cl 1 of the service agreement. That definition is as follows:

> "Restrained Business" means a business or operation similar to or competitive with the business of a Group Company, including without limitation a business involved in the outsourcing of recruitment services (often referred to as Onsite or Recruitment Process Outsourcing) or any other HR Outsourcing areas that HRX is operating in at the time of leaving the company.

[25] The term "Restraint Period" is defined in cl 1 of the service agreement to mean "2 years from the Termination Date".

[26] The definition of "Customer" in cl 1 is as follows:

"Customer" means:

(a) a customer or client of the Company or its related bodies corporate who was a:

  (i) customer or client of the Company or its related bodies corporate at any time in the 12 months prior to the termination of the Employment; and

  (ii) person or entity who entered into negotiations with the Company or its related bodies corporate with a view to receiving products or services from the Company at any time in the 6 months prior to the termination of the Employment; and

(b) a prospective customer or client of the Company or its Related Bodies Corporate to whom a Group Company has presented their services or have solicited business from in the 12 months prior to termination of the Employment.

The reasons of the Primary Judge

a. The construction issue

[31] The primary judge held that the words "similar to" and "competitive with" are not entirely disjunctive but are intended to refer to aspects of the same concept. On this view, a restrained business is one which is potentially or actually in competition with HRX' business at the time of termination of employment. The primary judge held that, while this market may not necessarily be confined to Australia, it is sufficiently narrow to exclude the notion of an unlimited global restraint. His Honour reached this conclusion for several reasons.

[32] First, the definition must be read as an aid to construction of the restraint in cl 14.4 of the service agreement. Clause 14 must be read in the overall context of the service agreement having regard to the purpose of cl 14 itself and construed in a way that is consistent with that purpose. The evident purpose of cl 14 is to protect HRX' legitimate interests rather than unnecessarily to restrain the future activities of Mr Pearson after the termination of his employment. Construed in this way, the definition means a business which might pose a real commercial threat to HRX if it had the benefit of Mr Pearson's intimate knowledge.

[33] Secondly, the primary judge held that the definition of "Restrained Business" is self-limiting, in that it was only intended to restrain Mr Pearson in areas of business in which HRX was actually operating at the time the executive left its employ.

[34] Thirdly, not long before the execution of the service agreement, HRX by its agent, Mr Pearson, had agreed to excise the words "similar to" from an otherwise identical version of the same agreement for a prospective executive. The primary judge held that this was a clear indication, as an objective surrounding circumstance, that those words were not seen (or intended) to add materially to the words "competitive with".

b. Reasonableness of the restraint

[35] The extent of the negotiations between the parties was regarded by the primary judge as an indication of the deliberate character of the execution of the service agreement which could be attributed to both parties.

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[36] The primary judge held that the restraint in cl 14.4 of the service agreement was reasonable. The restraint was the subject of specific negotiation; it was the subject of separate consideration in the form of payments; it was the only restraint at the time to be accompanied by payment; and it reasonably accommodated the contractual cycle on which HRX operates, its clients typically entering into two to three year contracts. The fact that Mr Pearson was to be paid at least at the level he enjoyed while at HRX for the balance of the restraint period represented a significant amelioration of any financial disadvantage to him; it directly affected the objective assessment of the reasonableness of the restraint.

…

Consideration

[51] In our respectful opinion, HRX' interest in protecting its customer connections was sufficient to justify HRX' bargaining for protection against the risk that the personal contacts made by Mr Pearson in the course of HRX' business would follow him unbidden to a new employer. That interest went beyond HRX' interest in confidential information and would not sufficiently be protected by the confidentiality provision of the service agreement. And the non-solicitation provision would not have protected HRX from the risk that its customers, knowing of Mr Pearson's move to Talent2, would choose to move their business to Talent2 unbidden by Mr Pearson and without even discussing the move with him. Further, the non-solicitation clause would be engaged only if there were a *reduction* in HRX' business: if an existing customer took *new* business to Talent2 upon an invitation from Mr Pearson, that conduct would not be caught by the non-solicitation clause. Finally, the non-solicitation clause might not provide practical protection to HRX if HRX did not become aware of a breach.

[52] It has been recognised that a confidentiality clause may not afford adequate practical protection to an employer's interests in preserving trade secrets. In *Woolworths Ltd v Olson* [2004] NSWCA 372, a restraint on subsequent employment was held to be justified by the need to protect a valuable trade secret. Mason P (with whom McColl and Bryson JJA relevantly agreed) said at [67]:

> A recognised method of such protection is the procurement of a restraint upon the employee given access to such information taking up employment with a competitor whom he might be willing to provide with such information. A reasonable employment restraint is easier to enforce than a breach of confidence or breach of copyright claim; it removes the temptation for the former employee to offer and for the new employer to solicit confidential information; and it provides certainty of definition as regards the area of confidential information to be protected. These interests have been judicially recognised (see *Littlewoods Organisation Ltd v Harris* [1977] 1 All ER 1472 at 1479, 1485, *Wright* at 333, *Kone Elevators* at 43, 834).

[53] As Dickson J noted in *Elsley*, the protection afforded by the non-solicitation and confidentiality provisions is unlikely to be perfect given the difficulties of proof of breach. In *Lindner v Murdock's Garage* (1950) 83 CLR 628, Latham CJ also observed at 636-7 that an employer's interest in customer connections may not be sufficiently protected by a covenant against solicitation and that a covenant against competition may be a more reasonable form of protection as

> … a covenant against solicitation … is difficult to enforce; it is difficult to show breach and difficult to frame an injunction. The master is entitled to protect himself by a covenant against competition [637].

[54] It is not in the least fanciful to regard the non-solicitation clause here as an inadequate protection for HRX. In concluding that an injunction to enforce the terms of the restraint was appropriate, the primary judge referred at Reasons [56] to an email sent by Mr Pearson to an existing client of HRX on 12 December 2011. It said relevantly:

> I cannot solicit your business … but I believe you can solicit my services if you know what I mean.

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[55] In this Court, Senior Counsel for Mr Pearson made the unedifying submission that the sending of this email was indeed a breach of the non-solicitation clause by his client; yet that HRX was sufficiently protected by its terms because Mr Pearson undertook to abide by them. It is, no doubt, correct that the sending of this email was a breach of the non-solicitation clause; but to acknowledge that now is a cold comfort to HRX. Had this litigation not been commenced by HRX, it might never have known of this communication.

[56] It follows from what we have said that we would reject Mr Pearson's argument that there was no legitimate interest of HRX which might support the restraint in cl 14.4 of the service agreement.

[57] Additionally, it seems to us that HRX' legitimate interests were not confined to the protection of its customer connections as they existed at the time of Mr Pearson's departure from HRX' employment. HRX had a legitimate interest in obtaining the full benefit of its bargain with Mr Pearson while he was employed by it so as to maximise the extent of customer connections made during the term of his employment. A contracting party's interest in obtaining the benefit of its bargain is implicit in any contract: *Mackay v Dick* (1881) 6 App Cas 251 at 263; *Butt v M'Donald* (1896) 7 QLJ 68 at 70-71; and *Secured Income Real Estate (Australia) Ltd v St Martins Investments Pty Ltd* (1979) 144 CLR 596 at 606-607.

[58] There are two aspects of HRX' interest in securing the benefit of its bargain which are relevant here. The first is the preservation of the value of the goodwill generated for HRX by Mr Pearson during the term of his employment which we have already discussed. As we have said, that interest would not be adequately protected by the non-solicitation provision if Mr Pearson were subsequently to take up employment with a firm to which HRX' customers might be disposed to bring new business without even discussing the move with him.

[59] The second aspect of HRX' interest in having the benefit of its bargain is its interest in the expansion of its business while Mr Pearson was employed by it. That this was a real interest is confirmed by the shareholding arrangement with Mr Pearson. This arrangement provided him with an incentive to ensure the energetic pursuit by him of all potential customers, wherever they be located, if they could be serviced by HRX. The restraint clause, like this incentive, served the legitimate interest of HRX in the expansion of its business by ensuring that Mr Pearson would not, with an eye on the non-solicitation provision and a lively appreciation of the real possibility of a future for himself in business independent of HRX, "hang back" from the diligent pursuit of all potential customers …

[61] We turn now to consider whether the restraint was a reasonable manner of protection for HRX' interests.

[62] Where a contractual restraint protects a legitimate interest of the covenantee the restraint must afford no more than reasonable protection as between the parties, and in terms of the public interest. In our respectful opinion, in terms of HRX' interests, both in protecting its customer connections and in ensuring the diligent and faithful pursuit by Mr Pearson of business opportunities for HRX, cl 14.4 is, as between the parties, reasonably necessary to protect those interests.

[63] The benefits secured to Mr Pearson under his contract of employment included an entitlement to shares. As he acknowledged, this entitlement was a quid pro quo for the protection of HRX against the risks involved in its dependence on his faithful and diligent performance of his crucial role in the business of HRX. The allocation of shares to Mr Pearson and the provision for payment for 21 of the 24 months of the restraint period confirm that the restraint was an aspect of a reasonable commercial arrangement as between the parties. In return for the restriction on Mr Pearson's career, he bargained successfully for a stake in HRX' business; a benefit which he acknowledged in cross-examination he would not have received had he not agreed to the restraint. There is no reason to think that there was any inequality of bargaining power in the negotiations which led to this arrangement. Indeed, Mr Pearson's prominence in his field was such that he might be said to have held the upper hand in the negotiations with Ms Leslie. In this regard, he was the first employee to negotiate a provision for payment by HRX during the period of his post-employment restraint.

Pearson v HRX Holdings cont.

[64] The nature of the business in which HRX, Talent2 and Mr Pearson are engaged is such that the needs of customers, located in, say, Hong Kong, can be met by services provided or arranged by persons physically located in Australia. The geographical limitations on restraints on competition which have been the focus of attention in the authorities have little relevance in the assessment of the reasonableness of the geographic operation of the restraint in question. It is to be noted that cl 14.4 does not operate by reference to particular markets; rather, as Senior Counsel for HRX emphasised, conduct on Mr Pearson's part which occurs in Australia may have ramifications adverse to HRX' ability to provide services to existing customers who embark on overseas ventures or to overseas branches of existing customers.

[65] The two-year restraint also reasonably accommodates the contractual cycle on which HRX operates. It thus affords HRX the opportunity to effect a renewal of its contracts with customers without the risk that the customer will choose to "stay" with Mr Pearson as the individual with whom it is familiar.

[66] No separate argument was advanced by Mr Pearson to the effect that cl 14.4 was unreasonable so far as the public interest is concerned. In this regard, there is no reason to apprehend that cl 14.4 was not reasonably in the public interest. There is no reason to apprehend harm to the public interest in the ready availability of human resources recruitment services in Australia. The evidence is that the industry is competitive; the absence of Mr Pearson from the industry for two years is not likely to change that state of affairs.

[67] It is also, we think, relevant to acknowledge that HRX was potentially a competitor in an international market for human resources recruitment services. Given the nature of the business of human resource recruitment, there appears to be no geographic barriers to the recognition of such a market. The public interest is actually enhanced by arrangements which promote the expansion of Australian business overseas, and the engagement of Mr Pearson on terms which ensured his diligent pursuit of such business on behalf of his employer in such an arrangement.

Appeal dismissed.

[41.90] Note

In *Provida Pty Ltd v Sharpe* [2012] NSWSC 1041, Pembroke J set out the following useful summary of the legal issues at play when assessing restraint clauses in employment contracts:

> The legal principles which govern the resolution of the issues in this case are well known. The general policy of the law is that people should honour their contracts: *Baltic Shipping Co v Dillon* [1991] NSWCA 19; (1991) 22 NSWLR 1 at 9 (Gleeson CJ); *Seven Network (Operations) Ltd v Warburton (No 2)* [2011] NSWSC 386 at [3]. It does not matter if the employee may have misunderstood or overlooked the terms of the contract to which he is bound. The enforcement of a commercial contract does not depend on a party's knowledge or understanding of its terms: *Toll (FGCT) Pty Ltd v Alphapharm Pty Ltd* [2004] HCA 49; (2004) 219 CLR 165 at [43]–[44].
>
> There are some qualifications to the general principle that contracts are meant to be observed. Covenants imposing a restraint on an employee's trade and covenants against solicitation of clients will not be enforced if the restraint is not necessary for the reasonable protection of the legitimate interests of the employer: *Buckley v Tutty* [1971] HCA 71; (1971) 125 CLR 353 at 376; *Curro v Beyond Productions Pty Ltd* (1993) 30 NSWLR 337 at 344. Restraints of trade, including restraints on solicitation of customers, will only be upheld when they are reasonably necessary to prevent, among other things,

the disclosure of confidential information obtained by the former employee in the course of employment or the exploitation of a connection built up by that employee with the employer's customers in the course of that employment.

There are several subsidiary principles that should also be mentioned:

(a) First, the court gives considerable weight to what parties have negotiated and embodied in their contract but a contractual consensus is not conclusive even when there is a contractual admission as to reasonableness: *Woolworths Ltd v Olson* [2004] NSWCA 372 at [39]; *Seven Network* at [70]–[71].

(b) Second, the validity of the restraint is to be tested at the time of entering into the contract and by reference to what the restraint entitled or required the parties to do rather than what they intended to do or have actually done: *Woolworths* at [40].

(c) Third, the test of reasonableness is measured by reference to the interests of the parties concerned and the interests of the public. The requirement that the restraint be reasonable in the interests of the parties means that the restraint must afford no more than adequate protection to the party in whose favour it is imposed: *Nordenfelt v Maxim Nordenfelt Guns and Ammunition Co Ltd* [1894] AC 535; *Herbert Morris Ltd v Saxelby* [1916] 1 AC 688 at 707; *Buckley v Tutty* at 376; *Linwar Securities Pty Ltd v Christopher Savage* [2006] NSWSC 786 at [25]–[26] (Nicholas J); *Koops Martin Financial Services Pty Ltd v Reeves* [2006] NSWSC 449 at [28] (Brereton J).

(d) Fourth, an employer is not entitled to require protection against mere competition. Covenants that restrain competition are invalid unless they are reasonably necessary to protect the legitimate business interests of the employer: *Dewes v Fitch* [1920] 2 Ch 159 at 181; *Wright v Gasweld Pty Ltd* (1991) 22 NSWLR 317 at 329 (Gleeson CJ); *Harlow Property Consultants Pty Ltd v Byford* [2005] NSWSC 658 at [24]-[25] (White J).

(e) Fifth, an employer is entitled to protection against the use by the employee of knowledge obtained by him of his affairs and business methods: *Dewes v Fitch* at 181.

(f) Finally, an employer's customer connection is an interest which can support a reasonable restraint of trade, especially so where the particular employee has, as against a particular client, become the human face of the business and the person who represents the business, or some aspect of the business, to the client: *Cactus Imaging Pty Ltd v Peters* [2006] NSWSC 717; (2006) 71 NSWLR 9 at [25] (Brereton J); *Kearney v Crepaldi* [2006] NSWSC 23 at [51]-[53] (McDougall J). In *Arthur Murray Dance Studios of Cleveland Inc v Witter* (1952) 105 NE (2d) 685, 705 (Ohio Common Pleas) Hoover J described this principle applying where:

> … the employee, by contact with the customer, gets the customer so strongly attached to him that when the employee quits and joins a rival he automatically carries the customer with him in his pocket.

Sale of a business

Nordenfelt v Maxim Nordenfelt Guns & Ammunition

[41.95] *Nordenfelt v Maxim Nordenfelt Guns & Ammunition Co Ltd* [1894] AC 535 (House of Lords) – Appeal from Court of Appeal.

[FACTS: Nordenfelt (the *appellant*) was a manufacturer of quick-firing guns and ammunition. He sold his business to a company. Later that company, with his concurrence, sold the business to Maxim (the *respondents*). As part of the arrangement, the appellant covenanted that he would not, during

Nordenfelt v Maxim Nordenfelt Guns & Ammunition cont.

the period of 25 years, engage in the manufacture of guns, gun mountings or carriages, gunpowder explosives or ammunition or in any trade or business competing or liable to compete in any way with that carried on by the respondents. Nordenfelt entered into an agreement with other manufacturers of guns and ammunition. The respondents sought an injunction to enforce the covenant. The trial judge, Romer J, held that the covenant was void. The Court of Appeal held that the covenant was too wide in its application to any business which the respondent might carry on during 25 years, but that it was valid as regards the guns and ammunition and that accordingly an injunction should be granted. Nordenfelt appealed to the House of Lords.]

LORD MACNAGHTEN: [560] The stipulation was that Mr Nordenfelt should not, during the term of 25 years from the date of the incorporation of the company, if the company should so long continue to carry on business: "engage except on behalf of the company either directly or indirectly in the trade or business of a manufacturer of guns, gun-mountings or carriages, gunpowder explosives or ammunition."

So far the covenant has been held good; then come the words: "or in any business competing or liable to compete in any way with that for the time being carried on by the company."

A proviso was added to the effect that such restriction should not apply to explosives other than gunpowder, or to subaqueous or submarine boats or torpedoes, or castings or forgings of steel or iron, or alloys of iron or of iron, or alloys of iron or of copper. The latter part of the covenant, which extends to all competing businesses, may be disregarded. In view of the manifold objects of the company, as set out in their memorandum of association, it was held by the Court of Appeal to be void; and there is no appeal from that part of the decision. The proviso also, I think, may be put aside. It is one of the circumstances to be taken into consideration as bearing upon the question of the reasonableness of the agreement; but it is not, I think, essential to the validity of this covenant.

Mr Nordenfelt admittedly has broken the earlier part of the covenant. His contention is that the whole covenant is void in law as being a covenant in restraint of trade unlimited in space. And the only point which your Lordships have to decide is [561] whether that part of the covenant which the appellant has broken is valid. For it cannot be disputed that the covenant is severable, and that part may be good though part be void. The learned judges of the Court of Appeal have come to the conclusion that the earlier part of the covenant is valid. But though they all arrive at one and the same result they approach the question from somewhat different points of view. [His Lordship then discussed the judgment in the Court of Appeal in great detail. He continued:]

[564] In the age of Queen Elizabeth all restraints of trade, whatever they were, general or partial, were thought to be contrary to public policy, and therefore void: *Colgate v Bacheler* (1602) Cro Eliz 872; 78 ER 1097. In time, however, it was found that a rule so rigid and far-reaching must seriously interfere with transactions of every-day occurrence. Traders could hardly venture to let their shops out of their own hands; the purchaser of a business was at the mercy of the seller and every apprentice was a possible rival. So the rule was relaxed. It was relaxed as far as the exigencies of trade for the time being required, gradually and not without difficulty, until it came to be recognised that all partial restraints might be good, though it was thought that general restraints, that is, restraints of general application extending throughout the kingdom, must be bad. Why was the relaxation supposed to be thus limited? Simply because nobody imagined in those days that a general restraint could be reasonable, not because there was any inherent or essential distinction between the two cases. "Where the restraint is general," says Lord Macclesfield, in *Mitchel v Reynolds* (1711) 1 P Wms 181; 24 ER 347, "not to exercise a trade throughout the kingdom," the restraint "must be void, being of no benefit to either party and only oppressive, as shall be shewn by-and-by." Later on he gives his reason: "Why does it signify" he says, "to a tradesman in London what another does at Newcastle; and surely it would be unreasonable to fix a certain loss on one side without any benefit to the other." "Any deed," says Best LCJ in [565] *Homer v Ashford* (1825) 3 Bing 322, 326; 130 ER 537, 539, "by which a person binds himself not to employ his talents, his industry, or his capital in any

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useful undertaking in the kingdom, would be void, because no good reason can be imagined for any person's imposing such a restraint on himself."

The true view at the present time, I think, is this: The public have an interest in every person's carrying on his trade freely; so has the individual. All interference with individual liberty of action in trading, and all restraints of trade of themselves, if there is nothing more, are contrary to public policy, and therefore, void. That is the general rule. But there are exceptions: restraints of trade and interference with individual liberty of action may be justified by the special circumstances of a particular case. It is a sufficient justification, and indeed it is the only justification, if the restriction is reasonable; reasonable, that is, in reference to the interests of the parties concerned and reasonable in reference to the interests of the public, so framed and so guarded as to afford adequate protection to the party in whose favour it is imposed, while at the same time it is in no way injurious to the public. That, I think, is the fair result of all the authorities. But it is not to be supposed that that result was reached all at once. [His Lordship then discussed the development of the law through the cases in considerable detail. He then continued:]

[573] Now, in the present case it was hardly disputed that the restraint was reasonable, having regard to the interests of the parties at the time when the transaction was entered into. It [574] enabled Mr Nordenfelt to obtain the full value of what he had to sell; without it the purchasers could not have been protected in the possession of what they wished to buy. Was it reasonable in the interests of the public? It can hardly be injurious to the public, that is, the British public, to prevent a person from carrying on a trade in weapons of war abroad. But apart from that special feature in the present case, how can the public be injured by the transfer of a business from one hand to another? If the business is profitable there will be no lack of persons ready to carry it on. In this particular case the purchasers brought in fresh capital, and had at least the opportunity of retaining Mr Nordenfelt's services. But then it was said there is another way in which the public may be injured. Mr Nordenfelt has "committed industrial suicide", and as he can no longer earn his living at the trade which he has made peculiarly his own, he may be brought to want and become a burden to the public. My Lords, this seems to me to be very far-fetched. Mr Nordenfelt received over £200,000 for what he sold. He may have got rid of the money. I do not know how that is. But even so, I would answer the argument in the words of Tindal CJ: "If the contract is a reasonable one at the time it is entered into we are not bound to look out for improbable and extravagant contingencies in order to make it void": *Rannie v Irvine* (1894) 7 Man & G 976; 14 LJCP 10; 135 ER 393. My Lords, for the reasons I have given, I think the only true test in all cases, whether of partial or general restraint, is the test proposed by Tindal CJ: What is a reasonable restraint with reference to the particular case? I think that the restraint in the present case is reasonable in every point of view, and therefore, I agree that the appeal should be dismissed.

[LORDS HERSCHELL, WATSON, ASHBOURNE and MORRIS, delivered judgments in which they held the appeal should be dismissed.]

Appeal dismissed.

CHAPTER **42**

The consequences of illegality

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[42.05] Where a contract is prohibited by statute or is illegal at common law, two consequences may follow:

1. Unenforceability: one or both parties may be prevented from suing on the contract.
2. Non-retrieval: one or both parties may be precluded from recovering money or property transferred under it.

These two consequences are examined in this chapter.

UNENFORCEABILITY

Statutory illegality

[42.10] When considering the consequences of a finding of statutory illegality, the court is involved in the task of statutory interpretation. The court must determine, in accordance with the ordinary principles that govern the construction of statutes, whether the legislature intended to render a contract void when such a finding would destroy legal rights held by an innocent party. Quite often such considerations lead the court to find that the contract in question is not prohibited by statute on the basis that it is unlikely that parliament intended that such consequences be visited upon an innocent party (see *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410, extracted at [40.35]). Adopting this approach, the court might also find that only the party responsible for the illegality loses his or her right to enforce the contract. As the majority observed in *Australian Competition and Consumer Commission v Baxter Healthcare Pty Ltd* [2007] HCA 38; (2007) 232 CLR 1, 28:

> there is nothing unusual about a circumstance in which making or giving effect to a contract involves an offence by one party to the contract but not the other. The consequences of such illegality for the rights of the parties will not necessarily be the same.

Two cases included in previous chapters are relevant:

1. First, *Yango Pastoral Co Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 (extracted at [40.35]) shows that the courts will reflect upon the effects on innocent parties before finding that a contract is unenforceable because of its association with illegality. Gibbs ACJ and Mason J noted that a finding that the contract was impliedly prohibited would mean not only that the wrongdoer (Yango) lost its ability to recover moneys owed to it but also that innocent depositors would be unable to recover moneys deposited with Yango. As it was unlikely that Parliament would intend such consequences be inflicted on innocent depositors, the statute was held not impliedly to prohibit contracts entered into in breach of s 8.
2. Second, *Master Education Services Pty Ltd v Ketchell* [2008] HCA 38; (2008) 236 CLR 101 (extracted at [40.45]) demonstrates that the courts will consider the range of remedies provided for by the statute when deciding whether the contract is prohibited by statute. The range of remedies that could be imposed in response to the breach was said to exhaust the consequences of breach.

Common law illegality

[42.15] As discussed in Chapter 41, a contract which involves illegal conduct may be unenforceable at common law on the ground of public policy even though the contract is not expressly or impliedly prohibited by statute. This has traditionally been justified by reference to the maxim *ex turpi causa non oritur actio* – an action does not arise from a base cause – but it is doubtful whether the maxim now properly describes either the basis of the rule or its usual effect. Despite the illegality, one or both of the parties may be able to enforce the contract.

Carefully defining the consequences of illegality at common law may help the court balance its desire to uphold bargains against concerns with aiding the enforcement of agreements associated with conduct that is contrary to public policy. For example, where a contract is not illegal, but has been performed in an illegal manner, the unenforceability rule is modified. If *both* parties to a contract intend that a wrongful mode of performance should be adopted, the general rule is that *neither* party may sue on the contract. If, however, the contract itself is not illegal, but *one* party intends to perform it in an illegal way, the innocent party who was unaware of the illegality may have a remedy. The maxim *in pari delicto potior est conditio defendentis* ("where there is equal fault, the defendant is in the stronger position") does not apply because the parties are not in pari delicto.

Several cases included in earlier chapters are relevant.

1. *Fitzgerald v F J Leonhardt Pty Ltd* (1997) 189 CLR 215 (extracted at [41.60]) shows how the courts determine whether a contract is unenforceable at common law because of its association with a breach of statute. It provides an example of the court finding that illegality did not affect the enforceability of the contract. The contract was illegal as performed, not formed and the claimant was an innocent party.
2. *North v Marra Developments Ltd* (1981) 148 CLR 42 (extracted at [41.40]) also deals with common law illegality raised by breach of statute. It provides an example of conduct that raised policy concerns sufficient to justify rendering the contract unenforceable. The

parties had contemplated a breach of statute from the outset and both were complicit in the illegality.

3. *Wilkinson v Osborne* (1915) 21 CLR 89 (extracted at [41.15]) provides an example of an agreement that violated public policy to such an extent that the court held the contract was unenforceable.

Severance

[42.20] Illegality will not necessarily cause the entire contract to be rendered unenforceable. In fact, it may be that only one clause raises illegality concerns. A difficult question arises when one or more, but not all, of the contractual terms raise illegality concerns. The question is whether the remaining valid promises are enforceable or whether the whole contract is infected with the vice of the objectionable promise or promises. In certain circumstances, the illegal part may be severed from a contract. This will leave the balance of the contract enforceable, assuming there is still consideration to support the promises sought to be enforced.

Criteria of severance

[42.25] The material contained in Chapters 40–1 demonstrates that the grounds upon which a contractual promise may be illegal, void or unenforceable are various. The reasons for, and the strengths of the policies behind, the particular rules vary considerably. It would be strange if the courts approached the question of severance in these very different cases by employing a stereotyped rule. The cases demonstrate that they have not done so. As Kitto J pointed out in *Brooks v Burns Philp Trustee Co Ltd* (1969) 121 CLR 432, 438: "Questions of severability are often difficult, and tests that have been formulated as useful in particular classes of cases are not always satisfactory for cases of other kinds." Sometimes the court will ask whether the defective promise is so material to the whole contract that there should be inferred an intention not to make a contract that would operate without it. Other times, it will ask whether the elimination of the term would change merely the extent rather than the kind of contract.

Thomas Brown and Sons v Fazal Deen

[42.30] *Thomas Brown and Sons Ltd v Fazal Deen* (1962) 108 CLR 391 (High Court of Australia) – Appeal from the Supreme Court of Queensland.

[FACTS: In 1943, Fazal Deen deposited 19 gold bars and a quantity of gems with one Harden, who was the general manager of the appellant company. The gold bars and gems were to be held in safe custody until Fazal Deen required them. At the time of the transaction, it was illegal for gold to be kept by a private person. Regulation 14 of the *National Security (Exchange Control) Regulations* in force at the relevant time required every person to deliver gold to the Commonwealth Bank within one month after it had come into his or her possession or control.

In 1959, demand was made for the return of the gold bars and gems. They were not returned. In January 1960, Fazal Deen issued a writ against the company claiming, inter alia, the return of the gold bars and gems, or their value, and damages for their detention and, alternatively, damages for breach of the contract of bailment and conversion. The trial judge decided in favour of Fazal Deen on the claim in detinue and held that Harden had acted as the company's agent. He also held that the gold bars and gems had disappeared from the company's custody not later than April 1953. The company appealed.]

Thomas Brown and Sons v Fazal Deen cont.

KITTO, WINDEYER and OWEN JJ: [410] It is necessary then to consider whether the agreement under which the gold, the gems and the safe were entrusted to the company's custody contravened the National Security (Exchange Control) Regulations in any respect, and, if so, what was the effect of such a contravention on the plaintiff's right to maintain the action. By reg 14(1) of those regulations, which were in force at the relevant time, every person who had any gold in his possession or control was required to deliver it to the Commonwealth Bank within one month after it came into his possession or control. And, by reg 14(3), all gold so delivered thereupon vested in the Bank free from any mortgage, charge, lien, trust or other interest, the Bank being directed to pay for the gold to the person delivering it, on behalf of all persons having any interest therein, at the price fixed by the regulations. Until delivery to the Bank, therefore, the gold remained the property of the plaintiff although, on the date when it was deposited with the company, the time had long passed when it should have been delivered to the Bank. The terms of the bailment required the company to hold the gold, along with the gems and the safe, in safe custody until such time as the plaintiff required them to be redelivered to him and, while apart from the provisions of the regulations he could no doubt have demanded their return at any time, the purpose common to both parties was that the company should hold them for an indefinite period and not part with them except to the plaintiff. So far as the gold was concerned, the performance of that agreement would, and in fact it did, contravene the regulations, but it does not follow that [411] the bailment of the gems and of the safe was tainted by illegality. If the terms of the bailment relating to the gold were severable from those relating to the gems and the safe the bailment of the latter chattels would be lawful. The test of severability was stated by Jordan CJ in *McFarlane v Daniell*: "If the elimination of the invalid promises changes the extent only but not the kind of contract, the valid promises are severable: *Putsman v Taylor*."

Applying that test, it is clear that the plaintiff's rights of action in respect of the gems and the safe would not be answered by a defence of illegality based upon a breach of the *National Security (Exchange Control) Regulations* since the contractual obligation upon the company as to the return of the plaintiff's property on demand applied to every part of the property deposited whether demanded together with the rest of it or separately. In the case of the gold, however, the plaintiff could not succeed if he was obliged to rely upon the illegal transaction to establish his case.

Appeal allowed in part.

Severance limited to deletion

[42.35] Severance is only available to delete words or phrases or sentences from a contract. What is left must be able to stand alone and make sense independently of the severed material. The court will not add or change words in order to make sense of what is left. Further, the meaning of the words which are left must not be altered. These points are illustrated by *Peters Ice Cream (Vic) Ltd v Todd* [1961] VR 485 (see the following extract).

A contractual provision in restraint of trade can be drafted in a way which anticipates severance. It may, for example, set out different *variables* of:

1. the kind of conduct proscribed (eg, the manufacturing of items A, B, C or D);
2. the duration of the restraint (eg, for two, four, six or eight years); and
3. the area of the restraint (eg, within a radius of three, eight, 10 or 20 kilometres).

The contract may then provide that covenants generated by the various combinations are subject to severance. This technique will be successful in defining enforceable covenants, provided the requirements of certainty are met.

Peters Ice Cream (Vic) v Todd

[42.40] *Peters Ice Cream (Vic) Ltd v Todd* [1961] VR 485 (Supreme Court of Victoria) – Trial of action.

[FACTS: Todd, a shopkeeper (the *defendant*), agreed that in consideration of Peters Ice Cream (Vic) Ltd (the *plaintiff*) supplying certain ice-cream products he would not "sell, serve, supply or vend any other make of ice-cream and/or kindred products … during any period this agreement is in force within a reasonable distance from my present place of business". The period of the agreement was five years. Todd in fact sold certain ice-cream products other than those of Peters Ice Cream (Vic) Ltd during the currency of the agreement. The company brought an action against Todd, claiming an injunction and damages.]

LITTLE J: [489] The contract between the parties does not leave the restraint unlimited in area, nor does it define in any precise way what the area of restraint is. It provides merely that the defendant agrees not to sell ice-cream other than that manufactured by the plaintiff within a reasonable distance from his present place of business. It was put by the plaintiff that what was a reasonable distance was a question of fact to be determined by the court just in the same way as the court may have to determine a reasonable price or a reasonable time …. [490] In this case, however, the parties have not, in my opinion, by the use of the imprecise language employed, defined the promisor's obligation, or defined it in such a way that the court can determine whether it exceeds or does not exceed the protection to which it may find the promisee was in fact entitled. They have, I think, left to the court the task of making their contract for them, and of carving out from time to time a distance which, within the restraint of trade doctrine, is reasonable. It is not for the court, however, to determine what protection could have been validly agreed upon between the parties. The function of the court is to determine whether a protection agreed upon between the parties is in law valid. The clause is, therefore, in my opinion, void …

[491] It was argued by counsel for the plaintiff, however, that if the expression "within a reasonable distance" was bad, it should be severed from the rest of the clause … Mr Harris submitted that a severance could and should be effected in either of two ways: (a) by striking out of the contract the whole phrase "within a reasonable distance from my present place of business"; or (b) by striking out the words "within a reasonable distance".

As to the first method, it was said that whilst in the result the promise would be unlimited as to area, it would none the less be valid (vide *Peters American Delicacy Co Ltd v Champion* (1928) 41 CLR 316) in which case there was no limit to the area within which the restraint was to operate but no suggestion was made that the restraint was accordingly too wide.

[492] In the present case, however, the parties have indicated by their language that the area is not to be unlimited. To adopt the first alternative would accordingly convert into an unlimited restraint a restraint which was not intended to be unlimited. If the second alternative were adopted, the word "from" would no longer be attached to the words "reasonable distance" but simply to "my present place of business". The prohibition would be against sales "from my present place of business". The word "from" would accordingly in the contract, as severed, be used in a sense different from that which it bears in the document as it now stands. If the parties had been asked to express their intentions in an expanded form, it would seem likely that they would have provided against the defendant selling "at or within a reasonable distance from" the present place of business. Instead of the word "at" they may have employed the expression "in or on" as in *Peters American Delicacy Co Ltd v Patricia's Chocolates and Candies Pty Ltd* (1947) 77 CLR 574. If, in an agreement expressed in either of those ways, severance were effected, what would remain would be a restraint on selling, serving, supplying or vending "at" or "in or on" the present place of business. Such a provision, however, is, in my opinion, narrower than a provision against selling, serving, supplying or vending "from" my present place of business.

But in any event the argument appears not to take into account that by the contract, the defendant also promises not to make ice-cream or kindred products. The language of that promise, equally with the words "sell, serve supply or vend", is, I think, plainly attached to the phrase "within a reasonable

Peters Ice Cream (Vic) v Todd cont.

distance from my present place of business". It is, accordingly, a promise "not to make ice-cream within a reasonable distance from the present place of business". Excision of the words "within a reasonable distance" would in this respect produce an ungrammatical and meaningless clause. To give any meaning (with those words deleted) to the promise not to make ice-cream, it would be necessary either to construe that promise as unlimited in area, that is, ignore the words "from my present place of business", or to do drastic surgery to the whole restraint provision so as to read the promise not to make ice-cream as one not to make it at the present place of business. Apart from all other considerations, the first alternative would produce the result that the promise not to sell would be limited, whilst the promise not to make would not be limited to the present place of business. The second alternative involving, as it does, transposition and addition of words, is not severance.

It follows that neither of the two methods of severance urged by Mr Harris is open: "I think it is still the law [said Lord Sterndale MR in *Attwood v Lamont* [1920] 3 KB 571 at 577] that a contract can be severed if the severed parts are independent of one another and can be severed without the severance affecting the meaning of the part remaining."

The considerations I have discussed serve to emphasise what is, in my opinion, as Mr McGarvie submitted, the fundamental objection to severance in this case, namely that the promise in the present contract is a single and indivisible one … [493] To use the language of Sargant J in *Nevanas & Co v Walker* [1914] 1 Ch 413 at 423, there has been no "clear severance by the parties themselves". Whether a promise is "separate or not depends on the language of the document. Severance, as it seems to me, is the act of the parties, not of the court": *Putsman v Taylor* [1927] 1 KB 637 at 640 per Salter J. I am, accordingly, of opinion that severance is not possible in the agreement now before me …

Judgment for defendant.

[42.45] **Note**

In New South Wales, the law relating to severability is affected by the *Restraints of Trade Act 1976* (NSW). Under this Act, a restraint of trade may be valid to the extent that it is not against public policy, whether it is in severable terms or not.

NON-RETRIEVAL

[42.50] The second potential consequence of illegality is that a party may be prevented from recovering money or property transferred under the affected contract. Where a party is unable to rely on his or her contractual rights, they may nevertheless be able to recover money or property by relying on other areas of the law. For example, they may be able to make a restitutionary claim or a claim based on one of the property torts.

Restitution

[42.55] A claim in restitution may founder on the defence of illegality. The central policy consideration at stake is the coherence of the law: *Equuscorp Pty Ltd v Haxton* [2012] HCA 7; (2012) 246 CLR 498, extracted at [42.60]. Other potentially relevant factors include whether the plaintiff is in pari delicto (equally guilty). Where the claimant is innocent, the courts are more likely to allow a restitutionary action. Where the illegality is raised because of

a breach of statute, it will also be relevant to consider whether the claimant was a member of a class that the legislation aims to protect. If the claimant is a member of a protected class, the court is more likely to allow the restitutionary action.

Another situation in which parties may not be in pari delicto is when one of the parties was persuaded by fraud or duress to enter an illegal contract. The pressured party may be permitted to seek restitution on the basis that they are less guilty than the other party. However, as *Callaghan v O'Sullivan* [1925] VLR 664 (extracted at [42.65]) shows, parties may still be regarded as in pari delicto even though one of them is in a position of superior power.

Where the contract is illegal on the ground that it is contrary to public policy, a plaintiff may be able to retrieve money or property transferred under the contract if the plaintiff can show that he or she repented before the illegal purpose had been substantially achieved. It may be difficult to determine in some cases what constitutes achievement of the illegal purpose. These matters are considered in *Clegg v Wilson* (1932) 32 SR (NSW) 109 (extracted at [42.75]) and *George v Greater Adelaide Development Co Ltd* (1929) 32 CLR 91 (extracted at [42.80]).

Equuscorp v Haxton

[42.60] *Equuscorp Pty Ltd v Haxton* [2012] HCA 7; (2012) 246 CLR 498 (High Court of Australia) – Appeal from the Supreme Court of Victoria.

[FACTS: The appellants sought to recover from the respondents money lent pursuant to a failed investment scheme. Members of the public were invited to invest in a farming venture. These investments were funded by loans provided by Rural Finance Pty Ltd (Rural), a company associated with the promoter of the investment scheme. The loans were held to be unenforceable for illegality because, in breach of the *Companies Code*, the promoter issued invitations to invest without first registering a prospectus providing information about the investments. When the investment scheme failed, Equuscorp, who acted as the promoter's financier, took an assignment of Rural's rights. It brought an action to recover the principal and interest due under the loan agreement as a debt. Alert to the possibility that the loan agreements may be unenforceable, Equuscorp argued in the alternative that it could recover the moneys advanced by way of a restitutionary action because the consideration provided under the loan agreements had totally failed.

At trial, Byrne J allowed the restitutionary action. The investors appealed to the Victorian Court of Appeal, which held that Rural had no right to restitution. Equuscorp appealed to the High Court.]

FRENCH CJ, CRENNAN and KIEFEL JJ:

Illegality and the Code

[21] Section 170(1) of the Code and associated provisions underpinned the finding by the primary judge that the loan agreements were unenforceable for illegality. Section 170(1) appeared in Div 6 of Pt IV of the Code at the time that the schemes were entered into and provided:

> A company or an agent of a company shall not issue to the public, offer to the public for subscription or purchase, or invite the public to subscribe for or purchase, any prescribed interest unless a statement in writing in relation to that prescribed interest has been registered by the Commission under Division 1.

The "statement" was required to set out "prescribed matters" including extensive information about the relevant investment (Code s 170(4)). Section 174(1) provided, inter alia, that a person shall not contravene or fail to comply with a provision of s 170 and imposed a penalty of $20,000 or imprisonment for five years or both. Section 174(2) provided:

> A person is not relieved from any liability to any holder of a prescribed interest by reason of any contravention of, or failure to comply with, a provision of this Division.

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It was not an offence against the Code to take up a prescribed interest which was issued or offered to the public or the subject of an invitation to the public in contravention of s 170(1).

[22] … The immediate predecessor of s 170 of the Code was s 82 of the *Uniform Companies Acts*. Their policy was obvious enough. It was to protect members of the public by requiring prior disclosure of information relevant to their investment decisions (*Corporate Affairs Commission (SA) v Australian Central Credit Union* [1985] HCA 64; (1985) 157 CLR 201, 210; per Mason ACJ, Wilson, Deane and Dawson JJ; *Hurst v Vestcorp Ltd* (1988) 12 NSWLR 394 at 402 per Kirby P, 421 per Mahoney JA). Provisions of that kind have a long lineage in corporate regulation.

[23] The effect of the prescribed interest provisions on agreements associated with the issue of such interests in contravention of the Code was primarily a matter of statutory construction, but also involved the application of the common law. As appears from the joint judgment in this Court in *Miller v Miller* [2011] HCA 9; (2011) 242 CLR 446, 458 [26];, and the decisions of this Court cited in that judgment, an agreement may be unenforceable for statutory illegality where:

(i) the making of the agreement or the doing of an act essential to its formation is expressly prohibited absolutely or conditionally by the statute (*Yango Pastoral Company Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 423 per Mason J, Aickin J agreeing at 436; *Nelson v Nelson* (1995) 184 CLR 538 at 552 per Deane and Gummow JJ);

(ii) the making of the agreement is impliedly prohibited by statute (*Yango Pastoral Company Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 423 per Mason J). A particular case of an implied prohibition arises where the agreement is to do an act the doing of which is prohibited by the statute *(Nelson v Nelson* (1995) 184 CLR 538 at 552 per Deane and Gummow JJ);

(iii) the agreement is not expressly or impliedly prohibited by a statute but is treated by the courts as unenforceable because it is a "contract associated with or in the furtherance of illegal purposes" (*Yango Pastoral Company Pty Ltd v First Chicago Australia Ltd* (1978) 139 CLR 410 at 432 per Jacobs J; *Nelson v Nelson* (1995) 184 CLR 538 at 552 per Deane and Gummow JJ).

In the third category of case, the court acts to uphold the policy of the law, which may make the agreement unenforceable. That policy does not impose the sanction of unenforceability on every agreement associated with or made in furtherance of illegal purposes. The court must discern from the scope and purpose of the relevant statute "whether the legislative purpose will be fulfilled without regarding the contract or the trust as void and unenforceable". (*Miller v Miller* (2011) 242 CLR 446 at 459 [27]) As in the case when a plaintiff sues another for damages sustained in the course of or as a result of illegal conduct of the plaintiff, "the central policy consideration at stake is the coherence of the law." (*Miller v Miller* (2011) 242 CLR 446 at 459 [15])

[24] The making of the loan agreements was not expressly prohibited by the Code. The primary judge did not discuss in his reasons whether their making was impliedly prohibited. There was evidently no submission before his Honour that the making of the loan agreements was prohibited as conduct by Rural making it liable as an accessory to primary contraventions of the Code. It appears that the primary judge held the loan agreements to be unenforceable as against the respondents on the common law ground that they were made in furtherance of an illegal purpose. The precise basis of their unenforceability was not further explored in the Court of Appeal.

[25] In *Nelson v Nelson*, Deane and Gummow JJ observed, in relation to contracts associated with or in furtherance of illegal purposes, that ((1995) 184 CLR 538 at 552):

> [t]he formulation of the appropriate public policy in this class of case may more readily accommodate equitable doctrines and remedies and restitutionary money claims than is possible where the making of the contract offends an express or implied statutory prohibition.

That observation involves the rejection of any inflexible or rigid rule excluding non-contractual claims in cases involving contracts unenforceable for illegality. In this case, the answer to the question whether it would have been open to Rural to pursue claims for money had and received under the loan agreements depends upon a number of factors but critically upon whether vindication of those claims would have

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frustrated or defeated, or have been inconsistent with, the statutory purpose of the provisions of the Code relating to the issue of prescribed interests. The requirement of coherence in this area of the law is not satisfied by the mere exclusion of an implied legislative intention to render unenforceable a contract made in furtherance of a contravening purpose. Unenforceability flows from the application of the common law informed, inter alia, by the scope and purpose of the relevant statute.

Whether restitutionary relief was available

[26] Equuscorp's restitutionary claims, as argued in this Court, depended entirely upon the unenforceability of the loan agreements. Had the agreements been enforceable, it is unlikely that the restitutionary claims could have been brought.

[27] The loan agreements were unenforceable because they were made in furtherance of an illegal purpose. That conclusion was not challenged in the Court of Appeal nor in this Court. The policy considerations informing the common law, discussed earlier in these reasons, must be taken to have required that conclusion. The question that follows is how the common law would have affected Rural's right to pursue restitutionary relief.

[28] Equuscorp based its claims for money had and received on what it said was a "total failure of consideration". It submitted that Rural had advanced money under the loan agreements on the basis that they were enforceable. That was a state of affairs, it was argued, which was always unsustainable. As a result, the respondents were unjustly enriched. The argument directs attention to the nature of the claim for money had and received and its interaction with the common law relating to illegal transactions …

[30] In *David Securities Pty Ltd v Commonwealth Bank of Australia* (1992) 175 CLR 353, this Court explained the part played by unjust enrichment in a claim for money had and received (in that case for recovery of a payment made under mistake of law). That explanation may be expressed, at a fairly high level of abstraction, as an approach to determining such claims. In summary:

- recovery depends upon enrichment of the defendant by reason of one or more recognised classes of "qualifying or vitiating" factors;
- the category of case must involve a qualifying or vitiating factor such as mistake, duress, illegality or failure of consideration, by reason of which the enrichment of the defendant is treated by the law as unjust;
- unjust enrichment so identified gives rise to a prima facie obligation to make restitution;
- the prima facie liability can be displaced by circumstances which the law recognises would make an order for restitution unjust.

Unjust enrichment therefore has a taxonomical function referring to categories of cases in which the law allows recovery by one person of a benefit retained by another. In that aspect, it does not found or reflect any "all-embracing theory of restitutionary rights and remedies" (*Roxborough v Rothmans of Pall Mall Australia Ltd* (2001) 208 CLR 516 at 544 [72] per Gummow J) …

[32] Failure of consideration is one of the factors that makes retention of a benefit prima facie unjust … [33] As Gummow J pointed out in *Roxborough v Rothmans of Pall Mall Australia Ltd* (2001) 208 CLR 516, failure of consideration for the purpose of a claim for money had and received is not confined by contractual principles. In that case there had been no failure of performance by Rothmans of any promise it had made. There was no question of repudiation by it of its contractual obligations. The question was whether it was "unconscionable" for Rothmans as the recipient of payments to retain them in circumstances in which it was not specifically intended or especially provided that it should so enjoy them. The question of unconscionability, as his Honour explained, derived from the general equitable notions which found expression in the common law count for money had and received. This Court acknowledged in *Australia and New Zealand Banking Group Ltd v Westpac Banking Corporation* (1988) 164 CLR 662 at 673 that "contemporary legal principles of restitution or unjust enrichment can be equated with seminal equitable notions of good conscience" albeit the action itself is not for the enforcement of a trust. The reference to conscionability in this context, however, does not mean that whether enrichment is unjust is to be determined by reference to a subjective evaluation of what

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is fair or unconscionable. As the Court reiterated in *Farah Constructions Pty Ltd v Say-Dee Pty Ltd* (2007) 230 CLR 89 at 156 [150] per Gleeson CJ, Gummow, Callinan, Heydon and Crennan JJ:

> recovery rather depends on the existence of a qualifying or vitiating factor falling into some particular category.

[33] Failure of consideration as a basis for a claim for money had and received may arise from a number of causes. One cause is illegality. Where a payment is made under a contract which is unenforceable for illegality, the unenforceability of the agreement may constitute a failure of consideration which is capable of supporting a claim for recovery of the payment …

[34] The outcome of a restitutionary claim for benefits received under a contract which is unenforceable for illegality, will depend upon whether it would be unjust for the recipient of a benefit under the contract to retain that benefit. There is no one-size-fits-all answer to the question of recoverability. As with the question of recoverability under a contract affected by illegality the outcome of the claim will depend upon the scope and purpose of the relevant statute. The central policy consideration at stake, as this Court said in Miller, is the coherence of the law. In that context it will be relevant that the statutory purpose is protective of a class of persons from whom the claimant seeks recovery. Also relevant will be the position of the claimant and whether it is an innocent party or involved in the illegality.

[35] Much judicial and academic ink has been spilt on this topic, which exercised the minds of Roman jurists in the days of the Republic. It elicited the cri de coeur of Lord Chief Justice Wilmot in 1767, "no polluted hand shall touch the pure fountains of justice", and the more temperate offering of Lord Mansfield, who wrote of a plaintiff's need to "draw [his] remedy from pure fountains".

[36] The importance of policy in determining the effect of illegality upon a restitutionary claim was central to Lord Mansfield's observation in *Holman v Johnson*:

> It is not for [the defendant's] sake, however, that the objection is ever allowed; but it is founded in general principles of policy, which the defendant has the advantage of, contrary to the real justice, as between him and the plaintiff, by accident, if I may so say.

There were often compelling policy arguments on both sides. In listing reasons for and against the grant of relief in relation to illegal transactions, Professor John Wade, writing in the *Texas Law Review* in 1946, said that (Wade, "Benefits Obtained Under Illegal Transactions – Reasons For and Against Allowing Restitution" (1946) 25 *Texas Law Review* 31 at 60):

> The balancing process … leaves on one side the view that a court should not help a man who has engaged in an illegal transaction out of the predicament in which he has placed himself, and on the other the view that a court should not permit unjust enrichment of one person at the expense of another. Of these two arguments, each of which seems most nearly determinative upon its side of the question, neither takes precedence upon logical analysis.

The search then is for a principled basis for determining whether or not relief is to be allowed.

[37] Professor Birks, in an article published in 2000, proposed as a criterion for the grant or refusal of restitutionary relief in relation to an illegal contract (Birks, "Recovering Value Transferred Under an Illegal Contract" (2000) 1 *Theoretical Inquiries in Law* 155 at 203):

> Would allowing that cause of action to be maintained make nonsense of the refusal to enforce the contract?

He characterised the question as one about self-stultification of the law. As he correctly pointed out on such an approach (at 203):

> The inquiry is constantly an inquiry into consistency and rationality, not into turpitude.

Birks described contracts of loan as providing the paradigm at the strong end of the spectrum of self-stultification (at 169):

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> Against a person who will not repay a loan, the claim in contract and a personal claim in unjust enrichment on the ground of failure of consideration appear to yield substantially the same performance.

So in *Boissevain v Weil* [1950] AC 327 Lord Radcliffe said of such a case (at 341):

> A court that extended a remedy in such circumstances would merit rather to be blamed for stultifying the law than to be applauded for extending it.

[38] The negative goal of avoiding self-stultification in the law may be expressed positively as the objective of maintaining coherence in the law as discussed by this Court in Miller. That approach is consistent with the proposition in the *Third Restatement on Restitution and Unjust Enrichment* that (§32(2) at 505-506):

> Restitution will also be allowed, as necessary to prevent unjust enrichment, if the allowance of restitution will not defeat or frustrate the policy of the underlying prohibition.

The point is also made in the *Restatement* that (§31, Comment b at 483):

> [d]ifferent rules govern the availability of restitution in connection with agreements that are merely "unenforceable" … and agreements that are unenforceable because they are "illegal".

That distinction is important and is reflected in the distinction between §31 and §32 of the *Restatement* which deal with unenforceability and illegality respectively. In a statutory setting, of course, both categories of case can be brought under a general rubric conditioning enforceability upon statutory purpose and associated public policy considerations. Moreover, as acknowledged in the *Restatement* (§31, Comment b at 483):

> [l]ying somewhere astride these familiar classifications are cases in which the claimant has violated a statute whose objectives might be regarded as both procedural and substantive.

Nevertheless, the making of an agreement which is unenforceable for illegality throws up a distinct suite of issues affecting the availability of restitutionary relief in respect of benefits received under the agreement.

[39] There has been some consideration by intermediate courts of appeal of the availability of restitutionary relief in respect of loan agreements affected by illegality arising out of the prospectus requirements of companies legislation and thereby held unenforceable. The reasoning in those cases, however, focussed upon considerations applicable to unenforceable agreements generally, rather than the specific issues which arise in the case of agreements unenforceable for illegality …

[45] Had a right to claim restitution for money had and received been available to Rural in this case, it would have been able to recover by such claims what the policy of the law denied it in respect of the loan agreements. Rural was not an arms length financier. It was part of the closely related group of companies that were involved in the promotion of the schemes. The loan agreements were an integral part of the schemes and in so far as they involved the issue of invitations and offers to investors to take up prescribed interests without the benefit of the protections required by the Code, furthered that illegal purpose. As in the *Hurst* case, while not essential to the investments, the loans made the investments more attractive. Recovery from the investors would have been recovery from persons whose protection was the object of the statutory scheme. The respondents were not in pari delicto with Rural. The failure of consideration invoked by Equuscorp was the product of Rural's own conduct in offering the loan agreements in furtherance of an illegal purpose. This is a clear case in which the coherence of the law, and the avoidance of stultification of the statutory purpose by the common law, lead to the conclusion that Rural did not have a right to claim recovery of money advanced under the loan agreements as money had and received. There was therefore no right to claim such relief available for assignment to Equuscorp. In any event, for the reasons that follow, any such rights, if they had existed, would not have been assigned by the Deed.

GUMMOW and BELL JJ:

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Money had and received

[99] The first line of defence by the respondents is that the scheme and purpose of Pt IV Div 6 of the Code, with particular reference to ss 170 and 174, is at odds with permitting against holders of prescribed interests an action for money had and received by them under loan agreements which were entered into as a direct consequence of contravention of s 170. That submission should be accepted and it is dispositive of the appeals, but several points should first be made.

[100] The first point is that, unlike the position under the foreign exchange regulations considered by Lord Radcliffe in *Boissevain v Weil*, s 170 of the Code did not by its terms forbid and render illegal either the contractual promise by the respondents to repay the moneys lent, or the very act of borrowing independently of the contractual promise. If s 170 had done so, then it would have struck both the contractual and restitutionary claims. But s 170 did not, and the decision of Byrne J to refuse to enforce the loan agreements was based upon considerations of the kind discussed in the extracts from *Miller v Miller* set out above.

[101] The second point is to recognise the fallacy of an assumption that contractual and restitutionary issues can readily be collapsed, so that, on the grounds just mentioned, to refuse to Equuscorp a contractual remedy necessarily denies the action by Equuscorp against the investors for money had and received. It was accepted in *David Securities Pty Ltd v Commonwealth Bank of Australia* that the existence of "illegality" may provide a qualifying or vitiating factor which enlivens a restitutionary action. The availability of such an action where there is an ineffective contract will determine whether the existing distribution of gains and losses is to lie undisturbed.

[102] The distinction between a contractual and a restitutionary action is illustrated in *Commonwealth Homes and Investment Co Ltd v Smith* (1937) 59 CLR 443 at 463, 466, by the rejection of the limitation defence pleaded to the action for money had and received in contrast to the limitation period applicable to the action in contract. Even if, in the present litigation, the claims in contract by Equuscorp were statute barred or extinguished (as Byrne J held was the result in the matters which are now the subject of appeals M128 and M130), the actions for money had and received would not suffer the same fate; they accrued only on the assertion by the respondents in their defences filed in 1999 that they were not bound by the loan agreements. Equuscorp correctly submits that, by itself, the difference in the applicable limitation regimes does not require denial of its actions for money had and received.

[103] The determinative issue, as Equuscorp accepted, is whether the policy of the statute law represented by Pt IV Div 6 of the Code denies any scope for an action for money had and received. In that regard, guidance is provided by the statement by Professor Palmer in his treatise *The Law of Restitution* (1978), vol 2 at 171:

> The illegality of the transaction will preclude recovery of damages for breach, or any other judgment aimed at enforcement of the contract, and the problem is whether the plaintiff can nonetheless obtain restitution of values transferred pursuant to the contract. The fact that public policy prohibits enforcement of the contract is not a sufficient reason for allowing one of the parties to retain an unjust enrichment at the expense of the other. Such a retention is warranted only when restitution is in conflict with overriding policies pursuant to which the transaction is made illegal.

That statement requires qualification to include within its scope circumstances where a contract is ineffective, not by reason of "illegality" sourced in a statute, but where the statute requires compliance with formalities which have not been observed by the parties, or restricts legal capacity, as does the doctrine of ultra vires …

[108] In *Nelson v Nelson* McHugh J referred to *Kiriri Cotton Co Ltd v Dewani* [1960] AC 192, where the Privy Council upheld an action by a tenant for money had and received to recover a premium the tenant had paid, contrary to a rent restriction law, to obtain the lease. McHugh J cited this as an

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example of the class of cases where recovery was permitted because the statutory scheme rendering a contract or arrangement illegal was enacted for the benefit of a class including the claimant.

[109] The respondents correctly submit that this principle applies here but to the opposite effect. This is because the prospectus provisions were not enacted for the protection of Rural and the other Johnson interests, but for the protection of the respondents as investors in the prescribed interests.

Conclusions

[110] The explanation of the money lending cases given by Mason and Wilson JJ in Pavey & Matthews is in point here. Their Honours said:

> The relevant provisions in those cases explicitly rendered unenforceable contracts executed by the money lender. The statutes were directed at making unenforceable an obligation to repay money already lent and a security already given in respect of such an obligation. It was not possible to interpret these provisions so that they left on foot any quasi contractual causes of action on the part of the lender. Request and receipt by the borrower of the money lent were integral elements in a situation in which the contract and all securities were expressed to be unenforceable. *An additional feature of the money lending cases is that the legislation was designed to protect borrowers by imposing onerous obligations on money lenders to comply with the statutory requirements.* (emphasis added)

[111] The prospectus provisions have a long history. This was traced by Mahoney JA in *Hurst v Vestcorp* (1988) 12 NSWLR 394 at 421 to the mid 19th century. As Heerey J later remarked when dealing with the prospectus provisions of the Code, so seriously did the legislature regard these provisions, including s 170, that a breach not necessarily fraudulent and not necessarily causing monetary loss nevertheless could result in a five year term of imprisonment. This supports the conclusion that in a case such as is presented by these appeals, the investors who received prescribed interests should not be in the same position as if Pt IV Div 6 of the Code had not been enacted or had been complied with by Rural, and the loan agreements had been effective in accordance with their terms. The respondents correctly submit that to permit recovery on the actions for money had and received would stultify the statutory policy evident in Pt IV Div 6 of the Code. We agree with what is further said on this point by French CJ, Crennan and Kiefel JJ at [45] in their reasons. Equuscorp, as successor to Rural, in these circumstances cannot complain that the loss is left to lie where it has fallen.

[HEYDON J delivered a dissenting judgment.]

Appeal dismissed.

(Some footnotes were omitted from the above extract.)

Callaghan v O'Sullivan

[42.65] *Callaghan v O'Sullivan* [1925] VLR 664 (Supreme Court of Victoria) – Trial of action.

[FACTS: The four defendants, who were police constables, had threatened to prosecute the plaintiff and his daughter on a charge of being in possession of uncustomed or stolen goods unless the plaintiff would agree to pay them £6,500. Of this sum, £1,000 was paid over by the plaintiff five days later. The defendants did not make any report or initiate any proceedings against the plaintiff or his daughter. The plaintiff sought to recover the £1,000.]

IRVINE CJ: [666] The material facts, then, appear to resolve themselves into these:

(1) that the plaintiff was induced to pay a sum of money to the defendants on their implied undertaking not to take steps that would lead to a prosecution;

Callaghan v O'Sullivan cont.

(2) that such steps were not in fact taken; and

(3) that the plaintiff was quite content to let the matter rest until it became evident that an inquiry, based on information derived from some source not stated in the evidence, was to be held, and that then he, acting on legal advice, launched a prosecution against the detectives.

Is he in such circumstances entitled to claim the aid of a court of law to recover the money so paid? Both on principle and authority I think he is not …

[668] The case of *Atkinson v Denby* (1861) 6 H & N 778; (1862) 7 H & N 934 at 31 LJ Ex 362; 158 ER 749, is often relied upon in support of the position that the parties are not in pari delicto where there is coercion exercised by the person taking the money over the person paying it; or, to put it in other words, where the defendant has taken advantage of the condition or position of the plaintiff to extort money from him. If that is true as a general proposition it would probably cover the present case. It is said, to use the words of Lord Ellenborough in a case that he recently referred to: "It can never be predicated as par delictum where one holds the rod and the other bows to it."

An examination of the cases shows, however, that this has never been laid down as a principle of general application. Indeed, if it did it would enable money paid to stifle a prosecution to be in all cases recoverable. In *Atkinson v Denby* a debtor who has been coerced to pay a creditor £50 by the threat that if he did not do so the creditor would not join with the other creditors in signing a composition deed, was held entitled to recover it back because the consideration was an illegal one as being a fraud on [669] creditors. Martin B dissented, and of the remaining judges, Bramwell B and Wild B held that the case was covered by *Smith v Bromley* (1760) 2 Doug 696 n; 99 ER 441, and *Smith v Cuff* (1817) 6 M & S 160; 105 ER 1203. In the Court of Exchequer Chamber the court was unanimous in holding the case governed by *Smith v Bromley* and *Smith v Cuff*, and it was not suggested that any new rule of law was stated or applied. It becomes necessary, therefore, to examine the cases referred to.

In *Smith v Bromley* Lord Mansfield uses the words:

> If the act is in itself immoral or a violation of the general laws of public policy, there the party paying shall not have this action; for where both parties are equally criminal against such general laws, the rule is potior est conditio defendentis. But there are other laws which are calculated for the protection of the subject against oppression, extortion, deceit, etc. If such laws are violated and the defendant takes advantage of the plaintiff's condition or situation, there the plaintiff shall recover, and it is astonishing that the reports do not distinguish between the violation of one sort and the other.

In *Browning v Morris* (1778) 2 Cowp 790; 98 ER 1364 at 792 (Cowp), Lord Mansfield had drawn the same distinction. He said: "If a man pays a sum of money by way of a bribe he can never recover it in an action, because both plaintiff and defendant are equally criminal"; and went on to state the exception to the general rule in almost the same language as in *Smith v Bromley*. In *Williams v Hedley* (1807) 8 East 378; 103 ER 388, Lord Ellenborough adopts and applies the language of Lord Mansfield in *Smith v Bromley*, and also in *Browning v Morris*, and expressly founds his decision in the case before him that the action was maintainable on that distinction so stated.

In *Smith v Cuff* Lord Ellenborough, following *Smith v Bromley*, decided that the action lay in a similar case. In his judgment he uses the oft-quoted expression cited above. That expression, if relied upon to establish a general right to relief, no matter what the nature of the illegal purpose for which the money was paid, so long as it can be shown that one party has in any respect the whip hand of the other (to use a common expression), derives no support from the great authority of Lord Ellenborough in the context in which it was used. Lord Ellenborough cannot be supposed to have intended to enunciate a rule so inconsistent with the distinction which he so strongly insisted on in *Williams v Hedley* … In my opinion, all the authorities on which *Atkinson v Denby* rests, and *Atkinson v Denby* itself, do not extend to cases where the illegal purpose for which the money was paid was the violation of a general law of

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[670] public policy, and that the buying off of a threatened prosecution, even though brought about by express threats to prosecute unless the money is paid, is a violation of such a law.

Judgment for the defendant.

Plaintiff repents: locus poenitentiae

[42.70] Where the contract is illegal on the ground that it is contrary to public policy, a plaintiff may be able to retrieve money or property transferred under the contract if the plaintiff can show that he or she repented before the illegal purpose had been substantially achieved. Also, it may be difficult to determine in some cases what constitutes achievement of the illegal purpose. These matters are considered in the following two cases.

Clegg v Wilson

[42.75] *Clegg v Wilson* (1932) 32 SR (NSW) 109 (Supreme Court of New South Wales) – Hearing of suit.

[FACTS: Mrs Elizabeth Clegg, an elderly widow (the *plaintiff*), executed a memorandum of transfer over certain real property to Wilson (the *defendant*). This transfer was executed pursuant to the terms of an agreement with Wilson. Under this agreement, she agreed to pay Wilson £6,000 if he promised not to give evidence in a prosecution which he had caused to be commenced against her son, who was a solicitor. The agreement also provided that the property would be taken as being worth £3,200.

The charge was withdrawn by the police after the son had been committed for trial on a number of other charges. Wilson at no time made any request that the charge should be withdrawn and had expressed his willingness to the police at all material times to give evidence against the son.

Mrs Clegg commenced an action against Wilson in which she claimed rescission of the memorandum of transfer and an injunction to restrain Wilson from registering it.]

LONG INNES J [His Honour held that the agreement was illegal as an agreement to stifle a prosecution and that there was no evidence of fraud, oppression or undue influence. He also held that as the agreement was illegal it could not constitute consideration for the transfer. He continued]: [114] The plaintiff's prompt repudiation of the arrangement is, I think, to be attributed, not to her removal from the influence of the defendant, but to the realisation of the fact that, owing to the imminence of other charges, the stifling of the prosecution on the charge in which the defendant was concerned would not achieve her son's freedom from imprisonment, while it would in some measure destroy the provision which he had made for her and himself, probably out of his client's moneys …

[118] In *Halsbury's Laws of England*, vol VII, p 409, para 846, it is stated that money paid or goods delivered in pursuance of an illegal contract can be recovered from the other party so long as the contract remains executory, provided notice be given repudiating the contract before the action is brought; if however, the illegal purpose has been carried out or a substantial [119] part of the contract has been performed, money paid under the contract can no longer be recovered, except where the parties are not in pari delicto. This statement has been criticised by Sir Adrian Knox CJ in *George v Greater Adelaide Land Development Co Ltd* (1929) 43 CLR 91, on the ground that it is difficult to reconcile it with the decision of the Court of Appeal in *Harse v Pearl Life Assurance Co* [1904] 1 KB 558, except on the view that the actual payment of money, or delivery of goods, pursuant to the contract is to be regarded as the performance of a substantial part of it. For my own part I may add that, so read, it would be reduced to a statement that money paid, or goods delivered, in pursuance of an illegal contract can be recovered from the other party so long as the contract remains executory except where the money

Clegg v Wilson cont.

paid, or goods delivered, constitute the performance by the plaintiff on his part of a substantial part of the contract. If this be so, the plaintiff's right to relief would appear to vary inversely to the need for it, and the law would seem to offer but slight inducement to parties to illegal contracts to repudiate them before the illegal purpose has been achieved. I think, however, that on an examination of the authorities it will appear that in *Harse v Pearl Life Assurance Co* and the other cases of that type, the view taken has been that in that class of case an illegal purpose has in fact been carried out. It becomes necessary, therefore, to attempt to discover by an examination of the relevant authorities what is the law on this subject; and in this examination only those cases in which the contracts were executory in their nature, and in which the parties were in pari delicto, need be considered.

The reported cases of this nature may be divided into classes according to whether, at the date of their repudiation, their illegal purpose has been carried into effect either: (a) wholly; (b) partially; or (c) not at all; in other words, according to whether they were at the material date, as regards their illegal purpose, executed or executory.

It is not disputed, and there can be no doubt, that where the illegal purpose has been completely achieved, equity will not relieve. Instances of this type of case are *Taylor v Chester* (1869) LR 4 QB 309; *Goodall v Lowndes* (1844) 6 QBD 464; 115 ER 173; *Jones [120] v Merionethshire Permanent Building Society* [1892] 1 Ch 173; and *Re Mapleback; Ex parte Caldecott* (1876) 4 Ch D 150. The last three mentioned of those cases were all cases in which the illegal purpose was to stifle a prosecution.

It is equally well established that the same result follows where the illegal purpose has been partly carried into effect. Instances of this type of case are afforded by *Ayerst v Jenkins* (1873) LR 16 Eq 275; *Re Great Berlin Steamboat Co* (1884) 26 Ch D 616; *Kearley v Thomson* (1890) 24 QBD 742; and *Apthorp v Neville & Co* (1907) 23 TLR 575. While *Herman v Jeuchner* (1885) 15 QBD 561 and *Re Gurwicz; Ex parte The Trustee* [1919] 1 KB 675, may perhaps be variously regarded as falling within either of those two classes.

It is only in regard to the third of those classes of cases that doubt can exist; and that class of cases also admits of being itself subdivided into cases:

(a) where consideration has been given, or there has been part performance, by the defendant; and

(b) cases in which there has been no such consideration or part performance on his part.

The reported cases may, however, also be divided into two main classes according to whether they are illegal:

(a) because forbidden expressly or implicitly by statute; or

(b) because, although not prohibited by statute, they are opposed to public policy and the interests of the public …

In cases where the contracts are illegal because expressly or impliedly prohibited by statute the view appears to have been uniformly taken that the maxims ex turpi causa non oritur actio and in pari delicto potior est conditio defendentis et possidentis apply, notwithstanding the executory nature of the contract. Instances of cases of this type are *Lowry v Bourdieu* (1780) 2 Doug 468; 99 ER 299; *Lubbock v Potts* (1806) 7 East 449; 103 ER 174; *Howard v Refuge Friendly Society* (1886) 54 LT 644; *Harse v Pearl Life Assurance Co*; *Goldstein v Salvation Army Assurance Society* [1917] 2 KB 291; [121] *George v Greater Adelaide Land Development Co Ltd*; and *Re National Benefit Assurance Co Ltd* [1931] 1 Ch 46.

The explanation of these cases appears to me to be that where parties, who are contracting upon an equal footing, and each of whom knows, or is deemed to know the law, propose to enter into an agreement, prohibited by statute, and which they know, or are deemed to know, is so prohibited, they both purpose the doing of an illegal act, and that illegal purpose is achieved by the mere making of the contract whether anything further remains to be done thereunder or not.

This being the state of the law with regard to contracts made illegal by statute, one might have expected that it would logically follow that the same results would ensue in the case of contracts illegal at common law as being opposed to public policy; but, as was pointed out by Lord Halsbury L in *Quinn*

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v Leathem [1901] AC 495 at 506, the English law is not a logical system, and whether the reason be, as was suggested by Lord Eldon in *St John v St John* (1805) 11 Ves 526, 536; 32 ER 1192, 1196, that where agreements, illegal as opposed to public policy, are repudiated, and the public interest requires that relief should be given, and it is given to the public through the party; or whether the view taken has been that, where a contract is illegal merely because its object is to achieve a purpose which is opposed to the public interest, it is to the public interest that an opportunity, and even inducement, should be afforded to either party to repent before the illegal purpose is achieved and injury to the public done, it is not necessary for me to consider; whatever the reason may be it is well established that at any rate in certain classes of such cases equity will relieve by ordering the return of money paid, goods delivered, or property transferred, pursuant to the contract, provided that due notice of repudiation is given before action is brought, and provided further that the illegal purpose has not been carried, either wholly or in part, into effect … [125] The conclusion, therefore, to which I have come is that in a case where the plaintiff has repudiated a contract which is illegal because opposed to public policy, for which the defendant has given no consideration, while the illegal purpose remains wholly executory, this court should grant equitable relief by ordering the repayment of money paid, goods delivered, or property transferred to the defendant pursuant to the contract, notwithstanding that there is an element of turpitude in the contract, and that both parties are in pari delicto …. [His Honour then held that the plaintiff was entitled to the relief claimed.]

Judgment for the plaintiff.

George v Greater Adelaide Land Development Co

[42.80] *George v Greater Adelaide Land Development Co Ltd* (1929) 43 CLR 91 (High Court of Australia) – Appeal from the Supreme Court of South Australia.

[FACTS: The respondent company brought an action against Mr George, the *appellant*, to recover the balance of purchase money payable under a contract for the sale of a certain vacant allotment of land. One of the defences raised by the appellant was that the contract contravened the provisions of the *Town Planning and Development Act 1920* (SA). He also counterclaimed for the recovery of the money already paid under the contract. One of the terms of the contract was that it was to be "subject to the conditions of sale and to the provisions of the *Town Planning and Development Act 1920*, being complied with".

At the time the contract was entered into, it did not comply with the provisions of the Act, but a few months after it had been entered into, the Act was complied with. At the trial, Murray CJ gave judgment for the company and dismissed the counterclaim. George appealed to the High Court.]

KNOX CJ [His Honour held that the contract contravened the provisions of the Act and continued]: [99] The remaining question is whether the appellant is entitled to recover the money paid by him under the alleged contract. It appears that the amount which the appellant now seeks to recover was paid in respect of instalments of purchase money payable under the contract during the period between 19 November 1925 and 17 August 1927. Apparently, nothing beyond the payment of these instalments was done by either party towards performance of the contract. It is said in *Halsbury's Laws of England*, vol VII, para 846 that money paid in pursuance of an illegal contract can be recovered from the other party so long as the contract remains executory, but that if a substantial part of the contract has been performed money paid under the contract can no longer be recovered except where it appears that the parties were not in pari delicto. It appears to me difficult to reconcile this statement of the law with the decision of the Court of Appeal in *Harse v Pearl Life Assurance Co* [1904] 1 KB 558, unless the payment of money in pursuance of the contract be regarded as performance of a substantial part of it. In that case the plaintiff sought to recover the amount paid

George v Greater Adelaide Land Development Co cont.

by him as premiums on illegal contracts of insurance into which he had been induced to enter by the innocent misrepresentation of [the] defendant's agent. The County Court judge held that even if both policies were void for want of insurable interest (that is, were illegal contracts and therefore void, and not merely voidable at the option of one of the parties) the representations having been innocently made, the premiums could not be recovered back. The decision was affirmed by the Court of Appeal (Collins MR and Romer and Mathew LJJ).

In delivering judgment, Collins MR said (at 563):

> It is clear law that where one of two parties to an illegal contract pays money to the other, in pursuance of the contract, it cannot be recovered back … Unless there can be introduced the element of fraud, duress, or oppression, or difference in the position of the parties which created a fiduciary relationship to the plaintiff so as to make it inequitable for the defendants to insist on the bargain that they had made with the plaintiff, he is in the position of a person who has made an illegal contract and has sustained a loss in consequence of a misstatement of law, and must submit to that loss.

And [100] Romer LJ said (at 564): "Assuming that the two policies are void because they were illegal, it is clear that the plaintiff cannot recover the premiums that he had paid unless he can make out that he is not in pari delicto with the defendant company." I can find no sufficient ground on which that case can be distinguished from the case now under consideration. In each the contract was void because it was illegal, in each both parties apparently believed the contract to be valid, in each there was no fraud proved, and no fiduciary relationship between the parties, nor was anything proved in the nature of oppression or duress. In *Harse's* case, the contract being wholly void, neither party could have insisted on its performance, and therefore it could not be said that the company had been at risk under the policies, or that anything had been done in performance of the contract except the payment of premiums in pursuance of it. In *Harse's* case it could not be said that the illegal purpose had been carried out or a substantial part of the contract had been performed, unless the payment of premiums were regarded as such performance; and, if so, in the present case there is no reason for treating the payment of instalments of purchase money as having a different result. The decisions relied on by counsel for the appellant appear to me to be distinguishable. In *Kettlewell v Refuge Assurance Co* [1908] 1 KB 545, fraud was proved. In *Hughes'* case [1916] 2 KB 482, the contracts were obtained by fraudulent misrepresentation, and therefore, the parties were not in pari delicto. In *Hermann v Charlesworth* [1905] 2 KB 123, Collins MR based his decision on the position of the defendant as a stakeholder and on the attitude of courts of equity to the particular mischief arising on marriage brokage contracts. *Taylor v Bowers* (1876) 1 QBD 291, was a case of stakeholder; so, in substance, was the case of *Perpetual Executors and Trustees Association of Australia Ltd v Wright* (1917) 23 CLR 185, and the case before the Judicial Committee ((1908) LR 35 Ind App 98) referred to in the reasons of Isaacs, Gavan Duffy and Rich JJ: (1917) 23 CLR 197. Where the action is to recover money deposited with a stakeholder to abide the event of an illegal contract the money can be recovered, if notice be given [101] to the stakeholder at any time before he has actually paid it over in pursuance of the contract. But the decision in *Harse's* case seems to show that, where money is paid in pursuance of an illegal contract by one of the parties to the other, it is not recoverable unless there be present some element of fraud, duress or oppression or some circumstances creating a fiduciary relationship between the parties so that the parties may be regarded as not in pari delicto. In the present case nothing of that kind is shown to exist; and, on the authority of the decision in *Harse's* case, I am of opinion that the appellant is not entitled to recover the amount paid by him in pursuance of the contract.

I think that both the action and the counterclaim should be dismissed. [STARKE and ISAACS JJ delivered judgments to the same effect.]

Appeal allowed.

Torts to goods

[42.85] Plaintiffs who have obtained or transferred goods under illegal contracts have brought actions in tort when those goods have been abused. The relevant torts are trespass to goods, conversion and detinue. In *Bowmakers Ltd v Barnet Instruments Ltd* [1945] KB 65, 71, Du Parcq LJ found that such tort actions could succeed so long as the plaintiff was not forced to rely on the impugned contract in order to make out its claim. Du Parcq LJ noted:

> A man's right to possess his own chattels will as a general rule be enforced against one who, without any claim of right, is detaining them, or has converted them to his own use, even though it may appear either from the pleadings, or in the course of the trial, that the chattels in question came into the defendant's possession by reason of an illegal contract between himself and the plaintiff, provided that the plaintiff does not seek, and is not forced, either to found his claim on the illegal contract or to plead its illegality in order to support his claim.

This principle is sometimes referred to as the "no reliance" theory or as the "Bowmakers rule" after the case in which it was enunciated. However, its status as part of Australian law is questionable. First, in cases where the rule has been applied, the Australian courts have given it a narrow scope of operation: see *Thomas Brown and Sons Ltd v Fazal Deen* (1962) 108 CLR 391 (extracted at [42.30]).

Secondly, the "no reliance" rule is inconsistent with the emphasis in recent High Court decisions (such as *Equuscorp Pty Ltd v Haxton* [2012] HCA 7; (2012) 246 CLR 498 and *Miller v Miller* [2011] HCA 9; (2011) 242 CLR 446) on the question of coherence and whether denial of the cause of action is needed to uphold the purpose of the prohibition in question. In *Nelson v Nelson* (1995) 184 CLR 538, the court rejected as too inflexible and extreme the view that a claimant who must plead or rely on illegal conduct cannot obtain relief. Rather, "the question of illegality is bound up with the view taken of the underlying policy of the Act" (at 559). The real issue is whether public policy is better served by allowing an action to recover money or property than it is by disallowing recovery.

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